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R-DFARS

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PART 1

SUBPART 201.4 ? CAREER DEVELOPMENT, CONTRACTING AUTHORITY,

Status: active

L0:SUBPART 201.4?CAREER DEVELOPMENT, CONTRACTING AUTHORITY,
L0:AND RESPONSIBILITIES

201.101 Framework

Status: active

L0:201.101 Framework.

L2:(a)(2) DoD implementation and supplementation of the FAR is issued in the

L0:Defense Federal Acquisition Regulation Supplement (DFARS) under the authority and

L0:control of the Secretary of Defense. The DFARS is codified in chapter 2 of Title 48, Code

L0:of Federal Regulations (CFR). The DFARS contains?

L1:(A) Requirements of law;

L1:(B) DoD-wide policies;

L1:(C) Delegations of FAR authorities;

L1:(D) Deviations from FAR requirements; and

L1:(E) Policies and procedures that have a significant effect beyond the

L0:internal operating procedures of DoD or a significant cost or administrative impact on

L0:contractors or offerors.

L1:(b) Relevant procedures, guidance, and information that do not meet the criteria in

L0:paragraph (a)(2) of this section are issued in the DFARS Procedures, Guidance, and

L0:Information (PGI).

201.101-70 Maintenance of the FAR, DFARS, and PGI

Status: active

L0:201.101-70 Maintenance of the FAR, DFARS, and PGI.

L0:See PGI 201.101-70 for policies and procedures for maintaining the FAR, DFARS, and

L0:PGI.

201.103 Authority

Status: active

L0:201.103 Authority.

L1:(1) The defense acquisition system, as defined in 10 U.S.C. 3001(a), exists to

L0:manage the investments of the United States in technologies, programs, and

L0:product support necessary to achieve the national security strategy prescribed by

L0:the President pursuant to section 108 of the National Security Act of 1947 (50

L0:U.S.C. 3043) and to support the United States Armed Forces.
L1:(2) The investment strategy of DoD shall be postured to support not only the
L0:current United States Armed Forces, but also future Armed Forces of the United
L0:States.
L1:(3) The primary objective of DoD acquisition is to acquire quality supplies and
L0:services that satisfy user needs with measurable improvements to mission
L0:capability and operational support at a fair and reasonable price.

201.103-70 Applicability

Status: active

L0:201.103-70 Applicability.
L0:The FAR and the Defense Federal Acquisition Regulation Supplement (DFARS) also
L0:apply to purchases and contracts by DoD contracting activities made in support of
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1
L0:Defense FAR Supplement (DFARS) Part 201
L0:foreign military sales or North Atlantic Treaty Organization cooperative projects
L0:without regard to the nature or sources of funds obligated, unless otherwise specified in
L0:this regulation.

201.104-70 Publication and code arrangement

Status: active

L0:201.104-70 Publication and code arrangement.
L1:(a) The CFR provides the official version of the DFARS at <https://www.ecfr.gov>.
L1:(b) The DFARS and the [official version of the DFARS PGI are available in one
L0:location at <https://www.acq.osd.mil/dpap/dars/dfarspgi/current/index.html>.
L1:(c) The Principal Director, DPCAP publishes changes to the DFARS in the Federal
L0:Register at <https://www.federalregister.gov> and on the DPCAP website at
L0:https://www.acq.osd.mil/dpap/dars/change_notices.html. Each change includes an
L0:clauses, provisions, or forms in solicitations.

201.105 OMB approval under the Paperwork Reduction Act

Status: active

L0:201.105 OMB approval under the Paperwork Reduction Act.
L0:See PGI 201.105 for a list of the DFARS information collection and recordkeeping
L0:requirements that have been approved by the Office of Management and Budget.

201.106 Certifications

Status: active

L0:201.106 Certifications.

L0:In accordance with 41 U.S.C. 1304, the DFARS and DoD component supplements must

L0:not include a new requirement for a certification by a contractor or offeror unless?

L1:(1) The certification requirement is specifically imposed by statute; or

L1:(2) Written justification for such certification is provided to the Secretary of Defense

L0:by the Under Secretary of Defense (Acquisition and Sustainment), and the Secretary of

L0:Defense approves in writing the inclusion of such certification requirement.

201.107 FAR conventions

Status: active

L0:201.107 FAR conventions.

L0:The following conventions apply to the DFARS:

L1:(1) If a provision or clause applies to commercial products or commercial services,

L0:the prescription will state the applicability. If the prescription is silent regarding

L0:commercial products and commercial services, then the provision or clause does not

L0:apply to those products and services.

L1:(2) Unless the prescription states otherwise, a provision or clause that applies to

L0:commercial products also applies to commercially available off-the-shelf items.]

201.108 Statutory acquisition-related dollar thresholds?adjustment for

Status: active

L0:201.108 Statutory acquisition-related dollar thresholds?adjustment for

L0:inflation.

L2:(a)(i) Except as provided at paragraph (b)(2) of the statute, 41 U.S.C. 1908 requires

L0:the adjustment for inflation of all statutory acquisition-related dollar thresholds in the

L0:DFARS be applied to contracts and subcontracts without regard to the date of award of

L0:the contract or subcontract.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1

L0:Defense FAR Supplement (DFARS) Part 201

L1:(ii) Section 814(b) of the National Defense Authorization Act for Fiscal Year

L0:2012 (Pub. L. 112-81) requires that the threshold established in 10 U.S.C. 2253(a)(2) for

L0:the acquisition of right-hand drive passenger sedans be adjusted for inflation in

L0:accordance with the requirements of 41 U.S.C. 1908, as appropriate.

L1:(d) A matrix showing the most recent escalation adjustments of statutory

L0:acquisition-related dollar thresholds is available at PGI 201.108.

201.170 Peer reviews

Status: active

L0:201.170 Peer reviews.

L0:All peer reviews must be conducted in accordance with the procedures at PGI 201.170.

201.201 Policy

Status: active

L0:201.201 Policy.

L3:(a)(1)(A) See PGI 201.201 for information on the numbering of the DFARS and L0:department, agency, or component supplements.

L1:(B) Departments and agencies and their component organizations may L0:issue acquisition regulations as necessary to implement or supplement the FAR or L0:DFARS. Approval of the Under Secretary of Defense for Acquisition and Sustainment L0:(USD(A&S)) is required before including in a department, agency, or component L0:supplement, or any other contracting regulation document such as a policy letter or L0:clause book, any policy, procedure, clause, or form that has?

L1:(1) A significant effect beyond the internal operating procedures of the L0:agency; or

L1:(2) A significant cost or administrative impact on contractors or offerors.

L1:(C) The USD(A&S) has delegated authority to the Principal Director, L0:Defense Pricing, Contracting, and Acquisition Policy (DPCAP) to approve or disapprove L0:the policies, procedures, clauses, and forms subject to paragraph (a)(1)(B) of this section.

201.270 Agency control and compliance procedures

Status: active

L0:201.270 Agency control and compliance procedures.

L0:See PGI 201.270 for the requirement to control the use of local provisions and clauses.

201.302 Policy

Status: active

L0:201.302 Policy.

L1:(1) The Principal Director, Defense Pricing, Contracting, and Acquisition Policy, L0:Office of the Under Secretary of Defense (Acquisition and Sustainment) L0:(OUSD(A&S)DPCAP), is the approval authority within DoD for any individual or class L0:deviation from?

L1:(i) FAR 3.104, Procurement Integrity, or DFARS 203.104, Procurement L0:Integrity;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1 L0:Defense FAR Supplement (DFARS) Part 201

L1:(ii) FAR subpart 27.4, Rights in Data and Copyrights, or DFARS subpart L0:227.4, Rights in Data and Copyrights;

L1:(iii) FAR part 30, Cost Accounting Standards Administration, or DFARS L0:part 230, Cost Accounting Standards Administration;

L1:(iv) FAR subpart 31.1, Applicability, or DFARS subpart 231.1, Applicability L0:(contract cost principles);

L1:(v) FAR subpart 31.2, Contracts with Commercial Organizations, or DFARS

L0:subpart 231.2, Contracts with Commercial Organizations; or
L1:(vi) FAR part 32, Contract Financing (except subparts 32.7 and 32.8 and the
L0:payment clauses prescribed by subpart 32.1), or DFARS part 232, Contract Financing
L0:(except subparts 232.7 and 232.8).
L1:(2) Submit requests for deviation approval through department or agency channels
L0:to the approval authority in paragraph (1) of this section as appropriate. Submit
L0:deviations that require OUSD(A&S)DPCAP approval through the Director of the DAR
L0:Council via email at osd.pentagon.ousd-a-s.mbx.dfars@mail.mil. At a minimum, each
L0:request must?
L1:(i) Identify the department, agency, or component if applicable, requesting the
L0:deviation;
L1:(ii) Identify the FAR or DFARS citation from which a deviation is needed, state
L0:what that citation requires, and indicate whether the request is for an individual or
L0:class deviation;
L1:(iii) Describe the deviation and indicate which of paragraphs (a) through (f) of
L0:FAR 1.301 best categorizes the deviation;
L1:(iv) State whether the deviation will have a significant effect beyond the
L0:internal operating procedures of the agency and/or a significant cost or administrative
L0:impact on contractors or offerors, and give reasons to support the statement;
L1:(v) State the period of time for which the deviation is required;
L1:(vi) State whether approval for the same deviation has been received
L0:previously, and if so, when;
L1:(vii) State whether the proposed deviation was published in the Federal
L0:Register and provide analysis of comments;
L1:(viii) State whether legal counsel has reviewed the request for deviation, and if
L0:so, state results; and
L1:(ix) Give detailed rationale for the request. State what problem or situation will
L0:be avoided, corrected, or improved if request is approved.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1
L0:Defense FAR Supplement (DFARS) Part 201

201.303 Individual deviations

Status: active

L0:201.303 Individual deviations.
L0:Individual deviations, except those described in 201.302(1) and 201.305, must be
L0:approved in accordance with 201.304.

201.304 Class deviations

Status: active

L0:201.304 Class deviations.
L2:(b)(i) Except as provided in paragraph (b)(ii) of this section, OUSD(A&S)DPCAP is
L0:the approval authority within DoD for any class deviation.

L1:(ii) The senior procurement executives for the Army, Navy, and Air Force, and
L0:the Directors of the Defense Commissary Agency, the Defense Contract Management
L0:Agency, and the Defense Logistics Agency, may approve any class deviation, other than
L0:those described in 201.302(1), that does not?
L1:(A) Have a significant effect beyond the internal operating procedures of the
L0:department or agency;
L1:(B) Have a significant cost or administrative impact on contractors or
L0:offerors;
L1:(C) Diminish any preference given small business concerns by the FAR or
L0:DFARS; or
L1:(D) Extend to requirements imposed by statute or by regulations of other
L0:agencies such as the Small Business Administration and the Department of Labor.

201.305 Deviations pertaining to treaties and executive agreements

Status: active

L0:201.305 Deviations pertaining to treaties and executive agreements.
L0:Contracting officers outside the United States may deviate from prescribed
L0:nonstatutory FAR and DFARS clauses when?
L1:(1) Contracting for support services, supplies, or construction, with the
L0:governments of North Atlantic Treaty Organization (NATO) countries or other allies (as
L0:described in 10 U.S.C. 2341(2)), or with United Nations or NATO organizations; and
L1:(2) Such governments or organizations will not agree to the standard clauses.

201.403 Selecting, appointing, and terminating the appointment for

Status: active

L0:201.403 Selecting, appointing, and terminating the appointment for
L0:contracting officers.

201.403-1 General

Status: active

L0:201.403-1 General.
L1:(1) In accordance with 10 U.S.C. 1724, in order to qualify to serve as a contracting
L0:officer with authority to award or administer contracts for amounts above the simplified
L0:acquisition threshold, a person must?
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1
L0:Defense FAR Supplement (DFARS) Part 201
L1:(i) Have completed all contracting courses required for a contracting officer to
L0:serve in the grade in which the employee or member of the armed forces will serve;
L1:(ii) Have at least 2 years experience in a contracting position;
L1:(iii) Have received a baccalaureate degree from an accredited educational

L0:institution; and

L1:(iv) Meet such additional requirements, based on the dollar value and

L0:complexity of the contracts awarded or administered in the position, as may be

L0:established by the Secretary of Defense.

L1:(2) The qualification requirements in paragraph (1)(iii) of this section do not apply

L0:to a DoD employee or member of the armed forces who?

L1:(i) On or before September 30, 2000, occupied?

L1:(A) A contracting officer position with authority to award or administer

L0:contracts above the simplified acquisition threshold; or

L1:(B) A position either as an employee in the 1102 occupational series or a

L0:member of the armed forces in an occupational specialty similar to the 1102 series;

L1:(ii) Is in a contingency contracting force; or

L1:(iii) Is an individual appointed to a 3-year developmental position. Information

L0:on developmental opportunities is contained in DoD Instruction 5000.66, Defense

L0:Acquisition Workforce Education, Training, Experience, and Career Development

L0:Program.

L1:(3) See DoD Instruction 5000.66 for information on waivers to the requirements in

L0:paragraph (1) of this section.

201.403-2 Appointment

Status: active

L0:201.403-2 Appointment.

L1:(a) Certificates of Appointment executed under the Defense Acquisition Regulation

L0:have the same effect as if they had been issued under FAR.

L1:(b) Agency heads may delegate the purchase authority in 213.301 to DoD civilian

L0:employees and members of the U.S. Armed Forces.

201.404 Contracting officer?s representative

Status: active

L0:201.404 Contracting officer?s representative.

L1:(c) Follow the procedures at PGI 201.404 regarding designation, assignment,

L0:qualifications, and responsibilities of a contracting officer's representative (COR).

L1:(1) A COR must be an employee, military or civilian, of the U.S. Government, a

L0:foreign government, or a North Atlantic Treaty Organization or coalition partner.

L0:Contractor personnel must never serve as CORs.

201.404-70 Contract clause

Status: active

L0:201.404-70 Contract clause.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1

L0:Defense FAR Supplement (DFARS) Part 201

L0:Use the clause at 252.201-7000, Contracting Officer's Representative, in solicitations

L0:and contracts when appointment of a contracting officer's representative is anticipated.

201.470 Appointment of property administrators and plant clearance

Status: active

L0:201.470 Appointment of property administrators and plant clearance

L0:officers.

L1:(a) The appropriate agency authority must appoint or terminate (in writing)

L0:property administrators and plant clearance officers.

L1:(b) In appointing qualified property administrators and plant clearance officers,

L0:the appointing authority must consider experience, training, education, business

L0:acumen, judgment, character, and ethics.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1

L0:Defense FAR Supplement (DFARS) Part 201

L0:PGI 201?FEDERAL ACQUISITION REGULATIONS SYSTEM

L0:PGI 201.1?FRAMEWORK

L0:PGI 201.101-70 Maintenance of the FAR, DFARS, and PGI.

L1:(a) DoD Instruction 5000.35, Defense Acquisition Regulations (DAR) System prescribes

L0:the composition and operation of the DAR Council.

L2:(b)(1) Departments and agencies process proposed revisions of FAR or DFARS through

L0:channels to the Director of the DAR Council. Process the proposed revision as a

L0:memorandum in the following format, addressed to the Director, DAR Council via email at

L0:I. PROBLEM: Succinctly state the problem created by current FAR and/or

L0:DFARS coverage and describe the factual and/or legal reasons necessitating the change to

L0:the regulation.

L0:II. RECOMMENDATION: Identify the FAR and/or DFARS citations to be

L0:revised. Attach as TAB A a copy of the existing coverage, conformed to include the

L0:proposed additions and deletions. Indicate deleted coverage by using strikethrough to mark

L0:the current words being deleted, and insert proposed language in brackets at the

L0:appropriate locations within the existing coverage.

L0:III. DISCUSSION: Include a complete, convincing explanation of why the

L0:change is necessary and how the recommended revision will solve the problem. Address

L0:advantages and disadvantages of the proposed revision, as well as any cost or

L0:administrative impact on Government activities and contractors. Identify any potential

L0:impact of the change on automated systems, e.g., automated financial and procurement

L0:systems. Provide any other background information that would be helpful in explaining the

L0:issue.

L0:IV. COLLATERALS: Address the need for public comment (FAR 1.201(b)), the

L0:Paperwork Reduction Act, and the Regulatory Flexibility Act (FAR 1.201(b)(2)).

L0:V. DEVIATIONS: If a recommended DFARS revision is a deviation from the

L0:FAR, identify the deviation and include under separate TAB a justification for the deviation

L0:that addresses the requirements of DFARS 201.302(2). The justification should be in the

L0:form of a memorandum for the Principal Director, Defense Pricing, Contracting, and
L0:Acquisition Policy, Office of the Under Secretary of Defense (Acquisition and Sustainment)

L0:(USD(A&S)).

L1:(ii) The public may offer proposed revisions of FAR or DFARS by submission of a
L0:memorandum, in the format (including all of the information) prescribed in paragraph (b)(1)
L0:of this section, to the Director of the DAR Council.

L1:(c) The DAR Council is also responsible for maintenance of the DFARS Procedures,
L0:Guidance, and Information (PGI).

L0:PGI 201.105 OMB approval under the Paperwork Reduction Act.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1

L0:Defense FAR Supplement (DFARS) Part 201

L0:The information collection and recordkeeping requirements contained in the DFARS and

L0:PGI have been approved by the Office of Management and Budget. The following OMB

L0:control numbers apply:

L0:DFARS Segment

L0:OMB Control No.

L0:215.403-5

L0:217.7004(a)

L0:217.7404-3(b)

L0:217.7505(d)

L0:231.205-18

L0:232.10

L0:239.7408

L0:242.1106

L0:252.204-7000

L0:252.204-7008

L0:252.204-7010

L0:252.204-7012

L0:252.204-7023

L0:252.205-7000

L0:252.208-7000

L0:252.209-7001

L0:252.209-7002

L0:252.209-7004

L0:252.209-7008

L0:252.215-7002

L0:252.215-7008

L0:252.215-7010

L0:252.216-7000

L0:252.216-7001

L0:252.216-7003

L0:252.217-7012

L0:252.217-7026

L0:252.217-7028

L0:252.219-7003

L0:252.223-7001

L0:252.223-7002

L0:252.223-7003

L0:252.223-7004

L0:252.223-7007

L0:0704-0497

L0:0704-0214

L0:0704-0214

L0:0704-0214

L0:0704-0483

L0:0704-0359

L0:0704-0341

L0:0704-0250

L0:0704-0225

L0:0704-0478

L0:0704-0454

L0:0704-0478

L0:0704-0519

L0:0704-0286

L0:0704-0187

L0:0704-0187

L0:0704-0187

L0:0704-0187

L0:0704-0477

L0:0704-0232

L0:0704-0574

L0:0704-0574

L0:0704-0259

L0:0704-0259

L0:0704-0259

L0:0704-0214

L0:0704-0214

L0:0704-0214

L0:0704-0386

L0:0704-0272

L0:0704-0272

L0:0704-0272

L0:0704-0272

L0:0704-0272

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1

L0:Defense FAR Supplement (DFARS) Part 201

L0:DFARS Segment

L0:OMB Control No.

L0:252.225-7000

L0:252.225-7003

L0:252.225-7004

L0:252.225-7005

L0:252.225-7010

L0:252.225-7013

L0:252.225-7018

L0:252.225-7020

L0:252.225-7021

L0:252.225-7023

L0:252.225-7025

L0:252.225-7032

L0:252.225-7033

L0:252.225-7035

L0:252.225-7039

L0:252.225-7040

L0:252.225-7046

L0:252.225-7049

L0:252.225-7050

L0:252.225-7057

L0:252.225-7058

L0:252.227-7013

L0:252.227-7014

L0:252.227-7017

L0:252.227-7018

L0:252.227-7019

L0:252.227-7025

L0:252.227-7028

L0:252.227-7037

L0:252.228-7000

L0:252.228-7005

L0:252.228-7006

L0:252.229-7010

L0:252.232-7002

L0:252.232-7007

L0:252.234-7002

L0:252.235-7000

L0:0704-0229

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L0:0704-0229

L0:0704-0229

L0:0704-0549

L0:0704-0460

L0:0704-0229

L0:0704-0525

L0:0704-0187

L0:0750-0005

L0:0750-0005

L0:0704-0369

L0:0704-0369

L0:0704-0369

L0:0704-0369

L0:0704-0369

L0:0704-0369

L0:0704-0369

L0:0704-0369

L0:0704-0216

L0:0704-0216

L0:0704-0216

L0:0704-0390

L0:0704-0321

L0:0704-0359

L0:0704-0479

L0:0704-0187

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1

L0:Defense FAR Supplement (DFARS) Part 201

L0:DFARS Segment

L0:OMB Control No.

L0:252.235-7001

L0:252.235-7003

L0:252.236-7000

L0:252.236-7002

L0:252.236-7003

L0:252.236-7004

L0:252.236-7010

L0:252.236-7012

L0:252.237-7000

L0:252.237-7011

L0:252.237-7023

L0:252.237-7024

L0:252.239-7000

L0:252.239-7009

L0:252.239-7010

L0:252.242-7004

L0:252.243-7002

L0:252.244-7001

L0:252.245-7003

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L0:252.246-7005

L0:252.246-7006

L0:252.246-7008

L0:252.247-7000

L0:252.247-7001

L0:252.247-7002

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L0:252.247-7022

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L0:252.247-7026

L0:252.247-7028

L0:252.249-7002

L0:252.251-7000

L0:252.270-7002

L0:Appendix F

L0:Appendix I

L0:0704-0187

L0:0704-0187

L0:0704-0255

L0:0704-0255

L0:0704-0255

L0:0704-0255

L0:0704-0255

L0:0704-0255

L0:0704-0231

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L0:0704-0231

L0:0704-0341

L0:0704-0478

L0:0704-0478

L0:0704-0250

L0:0704-0397

L0:0704-0253

L0:0704-0246

L0:0704-0246

L0:0704-0441

L0:0704-0441

L0:0704-0441

L0:0704-0441

L0:0704-0245

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L0:0704-0245

L0:0704-0245

L0:0704-0245

L0:0704-0245

L0:0704-0533

L0:0704-0252

L0:0750-0012

L0:0704-0248

L0:0704-0332

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1

L0:Defense FAR Supplement (DFARS) Part 201

L0:DFARS Segment

L0:OMB Control No.

L0:DD Form 1639

L0:DD Form 1659

L0:DD Form 2063

L0:DD Form 2139

L0:DD Form 250

L0:DD Form 250-1

L0:0704-0246

L0:0704-0245

L0:0704-0231

L0:0704-0229

L0:0704-0248

L0:0704-0248

L0:PGI 201.108 Statutory acquisition-related dollar thresholds?adjustment for inflation.

L0:The matrix showing the most recent escalation adjustments of statutory acquisition-related

L0:dollar thresholds in the DFARS is available at

L0:<https://www.acq.osd.mil/dpap/dars/pgi/docs/2024->

L0:D002_(f)_Threshold_Matrix_APR_25_CPI_7.30.2025.xls.

L0:PGI 201.170 Peer reviews.

L1:(a) Defense Pricing, Contracting, and Acquisition Policy peer reviews.

L1:(1) The Office of the Principal Director, Defense Pricing, Contracting, and

L0:Acquisition Policy (DPCAP), using the procedures in this section, will organize teams of

L0:reviewers and facilitate peer reviews for solicitations and contracts as follows:

L1:(i) DPCAP will conduct the preaward peer reviews for competitive procurements

L0:prior to the three phases of the acquisition (see PGI 201.170-2(a)) for all procurements with

L0:an estimated value of \$1 billion or more under major defense acquisition programs for which

L0:USD(A&S) is the milestone decision authority or USD(A&S) designates as requiring a peer

L0:review regardless of value. DoD components may request DPCAP-led peer reviews for

L0:acquisitions valued below the \$1 billion threshold. DPCAP will conduct these reviews upon

L0:approval by the Director, DPCAP (Contract Policy).

L1:(ii) DPCAP will conduct the preaward peer reviews for noncompetitive

L0:procurements prior to the two phases of the acquisition (see PGI 201.170-2(b)) for contract

L0:actions, e.g., new contracts, modifications to existing contracts, requests for equitable

L0:adjustment, claims valued at \$1 billion or more, or for any other contract action USD(A&S)

L0:designates as requiring a peer review regardless of value. DoD components may request

L0:DPCAP-led peer reviews for contract actions valued below the \$1 billion threshold. DPCAP

L0:will conduct these reviews upon approval by the Director, DPCAP (Price, Cost and Finance).

L1:(iii) Use the following criteria to identify actions that are subject to peer review:

L1:(A) If the not-to-exceed amount for an undefinitized contract action or an

L0:unpriced change order exceeds the peer review threshold, then the resulting definitization

L0:modification(s) will be subject to peer review regardless of actual performance up to the

L0:point of definitization.

L1:(B) For indefinite-delivery indefinite-quantity (IDIQ) contracts that will

L0:establish pricing terms that apply to orders, use the total maximum dollar value for purposes

L0:of the peer review threshold. IDIQ contracts that will not establish pricing terms in the basic

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1

L0:Defense FAR Supplement (DFARS) Part 201

L0:contract are not subject to peer review, but individual orders that exceed the threshold are

L0:subject to peer review.

L0:when considering the firm requirement for all supplies or services:

L1:(C) For noncompetitive contract actions, use the greater of the following

L1:(1) The approved Government objective amount.

L1:(2) The contractor proposed amount.

L1:(2) To facilitate planning for peer reviews, the military departments and defense

L0:agencies must provide a rolling annual forecast of acquisitions that will be subject to DPCAP

L0:peer reviews at the end of each quarter (i.e., March 31; June 30; September 30; December

L0:31).

L1:(i) Military departments and defense agencies must submit quarterly forecasts

L0:for competitive peer reviews to the Director, DPCAP (Contract Policy), at

L1:(ii) Military departments and defense agencies must submit quarterly forecasts

L0:for noncompetitive peer reviews to the Director, DPCAP (Price, Cost and Finance), at

L1:(b) Component peer reviews. The military departments and defense agencies must

L0:establish procedures for?

L1:(1) Preaward peer reviews of solicitations for competitive procurements not subject

L0:to paragraph (a)(1)(i) of this section; and

L1:(2) Preaward peer reviews of noncompetitive procurements not subject to

L0:paragraph (a)(1)(ii) of this section.

L1:(c) DoD components may request a DPCAP-led peer review for procurements that

L0:would not otherwise require a DPCAP-led peer review.

L1:(d) Military departments and defense agencies must, on or about June 30 and

L0:December 31 of each year, submit recommended best practices and lessons learned from

L0:competitive acquisition peer reviews under major defense acquisition programs to

L0:may be selected for posting at <https://www.acq.osd.mil/asda/dpc/cp/policy/competitive->

L0:source-selection.html.

L0:PGI 201.170-1 Objectives of peer reviews.

L0:The objectives of peer reviews are to?

L1:(a) Ensure that DoD contracting officers are implementing policy and regulations in a

L0:consistent and appropriate manner;

L1:(b) Continue to improve the quality of contracting processes throughout DoD; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1

L0:Defense FAR Supplement (DFARS) Part 201

L1:(c) Facilitate cross-sharing of best practices and lessons learned throughout DoD.

L0:DPCAP maintains a compilation of peer review lessons learned and best practices that

L0:is available at <https://www.acq.osd.mil/asda/dpc/cp/policy/peer-reviews.html> for

L0:competitive peer reviews and at <https://www.acq.osd.mil/asda/dpc/pcf/ss-peer->

L0:reviews.html for noncompetitive peer reviews.

L0:PGI 201.170-2 Preaward peer reviews.

L1:(a) Preaward peer reviews for competitive acquisitions must be conducted prior to each

L0:of the following three phases of the acquisition:

L1:(1) Issuance of the solicitation.

L1:(2) Request for final proposal revisions (if applicable).

L1:(3) Contract award.

L1:(b) Preaward peer reviews for noncompetitive acquisitions must be conducted prior to

L0:each of the following two phases of the acquisition:

L1:(1) Negotiation.

L1:(2) Contract award.

L0:PGI 201.170-3 Administration of peer reviews.

L1:(a) The results and recommendations that are products of peer reviews are intended to

L0:be advisory in nature; however, in the event the peer review report includes a

L0:recommendation that is identified as "significant" and the contracting officer does not intend

L0:to follow that recommendation, the senior procurement official of the contracting activity for

L0:the reviewed organization must be made aware of this fact before action is taken (or

L0:inaction, as applicable) that is contrary to the recommendation. Reviews will be conducted

L0:in a manner that preserves the authority, judgment, and discretion of the contracting officer

L0:and the senior officials of the requiring activity.

L1:(b) Peer review teams should be comprised of senior contracting officials and attorneys

L0:as appropriate. Teams may include civilian employees or military personnel external to the

L0:department, agency, or component that is the subject of the peer review.

L1:(c) Reviews are generally conducted remotely. However, a peer review may be

L0:conducted at the location of the executing contracting organization when appropriate.

L1:(d) See paragraph (g) of this section for a list of the documents that must be made

L0:available to the competitive peer review team, along with the specific elements the team will

L0:examine. See paragraph (h) of this section for a list of the documents that must be made

L0:available to the noncompetitive peer review team, along with a link to the noncompetitive

L0:peer review preparation resource.

L1:(e) The review team observations and recommendations will be communicated to the

L0:contracting officer and the senior procurement official immediately upon completion of a

L0:review.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1

L0:Defense FAR Supplement (DFARS) Part 201

L1:(f) The contracting officer must document the disposition of all peer review

L0:recommendations (i.e., state whether the recommendation will be followed and, if not, why

L0:not) as a signed memorandum for the record in the applicable contract file. For competitive

L0:acquisitions, the contracting officer must submit this memorandum to [osd.pentagon.ousd-a-](mailto:osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil)

L0:s.mbx.dpc-cp@mail.mil prior to the next phase peer review or prior to contract award for

L0:phase 3 reviews. For noncompetitive acquisitions, the contracting officer must submit this

L0:memorandum to osd.pentagon.ousd-a-s.mbx.dpc-pcf-peer-reviews@mail.mil prior to the

L0:phase 2 peer review or prior to contract award for phase 2 reviews.

L1:(g) Required documents and elements for competitive acquisition preaward peer

L0:review. Submit any required peer review documents to [osd.pentagon.ousd-a-](mailto:osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil)

L0:s.mbx.dpc-cp@mail.mil.

L1:(1) Required documents. At a minimum, peer review teams must have access

L0:to the following documents, as applicable, at least 5 business days prior to the

L0:scheduled date of a peer review:

L1:(i) The most recent acquisition decision memorandum for the program.

L1:(ii) The acquisition strategy, or acquisition plan.

L1:(iii) The source selection plan.

L1:(iv) The draft for phase 1 or final request for proposals (RFP) and all

L0:amendments, with a synopsis of what, if any, RFP requirements (technical and

L0:contractual) were changed and why.

L1:(v) The source selection evaluation board (SSEB) analysis and findings to

L0:ensure the evaluation of offers was consistent with the source selection plan and RFP

L0:criteria.

L1:(vi) Any meeting minutes memorializing discussions between the

L0:Government and offerors.

L1:(vii) All evaluation notices generated as a result of deficiencies in the

L0:offerors' proposals as well as the offerors' responses to those evaluation notices.

L1:(viii) All minutes memorializing the conduct of source selection advisory

L0:council (SSAC) deliberations held to date.

L1:(ix) The offerors' responses to the request for final proposal revision.

L1:(x) The final SSAC deliberation.

L1:(xi) The final source selection authority (SSA) determination and source

L0:selection decision.

L1:(xii) Award or incentive fee arrangements, documentation of any required

L0:head of the contracting activity determinations and findings regarding nonavailability of

L0:objective criteria.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1

L0:Defense FAR Supplement (DFARS) Part 201

L1:(2) Peer review teams may make recommendations on any aspect of the

L0:procurement, including the following:

L1:(i) The process was well understood by both Government and Industry.

L1:(ii) Source selection was carried out in accordance with the source selection

L0:plan and RFP.

L1:(iii) The SSEB evaluation was clearly documented.

L1:(iv) The SSAC advisory panel recommendation was clearly documented.

L1:(v) The SSA decision was clearly derived from the conduct of the source

L0:selection process.

L1:(vi) All source selection documentation is consistent with the Section M

L0:evaluation criteria.

L1:(vii) The business arrangement.

L1:(h) Required documents and preparation resource for noncompetitive acquisition

L0:preaward peer review. Submit any required peer review documents to

L1:(1) Required documents. At a minimum, peer review teams must have access

L0:to the following documents, as applicable, at least 5 business days prior to the

L0:scheduled date of a peer review:

L1:(i) Preliminary price negotiation memorandum or business clearance for

L0:phase 1 or price negotiation memorandum or business clearance for phase 2, including

L0:all listed attachments.

L1:(ii) Summary documents to support a discussion of salient aspects of the

L0:acquisition, e.g., business/contract clearance charts. Special charts do not need to be

L0:developed for the peer review.

L1:(iii) The anticipated or negotiated language of clauses affecting the price or

L0:the business arrangement, e.g., economic price adjustment, performance-based

L0:payments, incentive, award-fee, or award-term provisions, terms establishing price

L0:adjustment when using demand bands, reopener clauses, exchange rate clauses, or
L0:other clauses.

L1:(iv) Award-fee plan and documentation of any required head of the

L0:contracting activity determination and findings regarding nonavailability of objective

L0:criteria (see FAR 16.401(e)(1)).

L1:(v) Defense Contract Audit Agency audits and Defense Contract

L0:Management Agency technical and/or price analyses, upon request.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1

L0:Defense FAR Supplement (DFARS) Part 201

L1:(vi) The proposed performance-based payments schedule and Government

L0:analysis, if use of performance-based payments is contemplated.

L1:(vii) Any other documents deemed necessary by the review team.

L1:(2) Noncompetitive peer review preparation resource. The noncompetitive peer

L0:review preparation resource is available at [https://www.acq.osd.mil/asda/dpc/pcf/ss-](https://www.acq.osd.mil/asda/dpc/pcf/ss-peer-reviews.html)

L0:peer-reviews.html. The resource identifies frequently addressed areas of emphasis. It

L0:is recommended that acquisition teams review these listed areas of interest in advance

L0:of releasing a request for proposal.

L0:PGI 201.2?AGENCY ACQUISITION REGULATIONS

L0:PGI 201.201 Policy.

L0:PGI 201.201-70 Numbering.

L1:(a) Text that supplements the FAR uses the same numbering as its FAR counterpart,

L0:with the number 70 and up added to the FAR part, subpart, or section number. When the

L0:text exceeds one paragraph, the paragraphs use the FAR numbering sequence, which is

L4:(a)(1)(i)(A)(1)(i). For example, DFARS text supplementing FAR 1.101 would be numbered

L0:201.101-70. The paragraphs in 201.101-70 would be (a), (b), and (c).

L1:(b) Text that implements the FAR uses the same numbering as its FAR counterpart.

L0:However, when the text uses a different number of paragraphs than the FAR, the text uses

L0:supplemental numbering.

L1:(c) Paragraph numbering below the 4th level (i.e., (A)) does not repeat the numbering

L0:sequence. It uses italicized Arabic numerals (e.g., 1) at the 5th level and then italicized

L0:lower case Roman numerals (e.g., i) at the final level.

L1:(d) Examples of DFARS numbering are in Table 1, DFARS Numbering.

L1:(e) Department, agency, and component supplements must parallel the FAR and

L0:DFARS numbering, except department and agency supplemental numbering uses section

L0:numbers of 90 and up, instead of 70 and up.

L0:TABLE 1, DFARS NUMBERING

L0:FAR

L0:Is Implemented As

L0:Is Supplemented As

L0:19

L0:19.5

L0:19.501

L0:19.501-1

L0:19.501-1(a)

L0:19.501-1(a)(1)

L0:219

L0:219.5

L0:219.501

L0:219.501-1

L0:219.501-1(a)

L0:219.501-1(a)(1)

L0:219.70

L0:219.570

L0:219.501-70

219.501-70 or 219.570

Status: active

L0:219.501-70 or 219.570

201.201-71 Local solicitation provisions and contract clauses

Status: active

L0:201.201-71 Local solicitation provisions and contract clauses.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1

L0:Defense FAR Supplement (DFARS) Part 201

L1:(a) Contract clauses and solicitation provisions developed by departments and agencies

L0:(i.e., local clauses) that constitute a significant revision must be published for public

L0:comment in the Federal Register in accordance with DFARS 201.101.

L1:(1) A local clause is considered a significant revision if the clause?

L1:(i) Contains a new certification requirement for contractors or offerors that is not

L0:imposed by statute (see FAR 1.106 and DFARS 201.106);

L1:(ii) Constitutes a deviation (as defined at FAR 1.3) from the parts and subparts

L0:identified at DFARS 201.302; or

L1:(iii) Will be used on a repetitive basis and?

L0:more members of the public (see FAR 1.105); or

L1:(A) Imposes a new requirement for the collection of information from 10 or

L0:that contained in the FAR or DFARS.

L1:(B) Has any cost or administrative impact on contractors or offerors beyond

L1:(2) A local clause is not considered a significant revision, if the clause?

L1:(i) Is for a one-time use intended to meet the needs of an individual acquisition

L0:(e.g., a clause developed as a result of negotiations and documented in the business

L0:clearance or similar document), except for clauses that constitute a deviation (as defined at

L0:FAR 1.301) from the parts and subparts identified at DFARS 201.302; or

L1:(ii) May be used on a repetitive basis and has no new or additional cost or

L0:administrative impact on contractors or offerors beyond any cost or administrative impact

L0:contained in existing FAR or DFARS coverage.

L0:PGI 201.270 Agency control and compliance procedures.

L1:(a) Agencies must control the use of clauses or provisions other than those prescribed

L0:by the FAR or DFARS (i.e., local clauses) and shall include procedures to ensure that a local
L0:clause?

L1:(1) Is evaluated to determine whether the local clause constitutes a significant

L0:revision;

L1:(2) Is numbered in accordance with FAR 52.1 and DFARS 252.1 (see 252.103);

L1:(3) Is accompanied by a prescription in the appropriate part and subpart of the

L0:department or agency FAR supplement where the subject matter of the clause receives its

L0:primary treatment;

L1:(4) If it constitutes a significant revision?

L1:(i) Is published for public comment in the Federal Register in accordance with

L0:FAR 1.201 and DFARS 201.201;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1

L0:Defense FAR Supplement (DFARS) Part 201

L1:(ii) Complies with the Paperwork Reduction Act 1980 (44 USC chapter 35), in

L0:accordance with FAR 1.105 and 1.301; and

L1:(iii) Complies with the Regulatory Flexibility Act (5 U.S.C. 601, et seq.), in

L0:accordance with FAR 1.301; and

L1:(5) When Federal Register publication is required for any policy, procedure, clause,

L0:or form, the department or agency requesting Under Secretary of Defense (Acquisition and

L0:Sustainment) approval for use of the policy, procedure, clause, or form must include an

L0:analysis of the public comments in the request for approval.

L0:PGI 201.4?CAREER DEVELOPMENT, CONTRACTING AUTHORITY, AND

L0:RESPONSIBILITIES

L0:PGI 201.404 Contracting officer?s representative.

L0:PGI 201.404-70 Roles and responsibilities.

L0:Contracting officers must inform all individuals performing on their behalf of their delegated

L0:roles and responsibilities and the relationships among the parties.

L1:(a) When designating Department of State personnel as a contracting officer?s

L0:representative (COR for contracts executed by DoD in support of Department of State in

L0:Iraq), follow the procedures in the Director, Defense Procurement and Acquisition Policy

L0:memorandum dated July 11, 2011, Contracting Officer?s Representative Designation?Iraq.

L1:(b) DoD COR certification standards define minimum COR competencies, experience,

L0:and training requirements according to the nature and complexity of the requirement and

L0:contract performance risk. These COR certification standards should be considered when

L0:developing service requirements, soliciting proposals, and performing surveillance during

L0:contract performance. The DoD standards and policy are provided in DoD Instruction

L0:5000.72, DoD Standard for Contracting Officer?s Representative (COR) Certification.

L1:(c) Guidance on the appointment and duties of CORs is provided in the DoD COR

L0:Guidebook.

L1:(d) DoD components must use the Joint Appointment Module (JAM), within the

L0:Procurement Integrated Enterprise Environment (PIEE), to electronically track COR

L0:nominations, appointments, terminations, and training certifications for contracts

L0:assigned a COR. Components must use the Surveillance and Performance Monitoring L1:(SPM) Module, located in the PIEE, for all other contract surveillance actions. Further L0:guidance on the use of JAM and SPM Module is available at <https://piee.eb.mil/piee-L0:landing/>.

L1:(e) A COR assists in the technical monitoring or administration of a contract.

L1:(1) Unless an exemption applies, contracting officers must designate a COR for

L0:all service contracts, including both firm-fixed-price and other than firm-fixed-price

L0:contracts, and supply contracts with cost-reimbursable line items awarded by a DoD

L0:component or by any other Federal agency on behalf of DoD within 3 business days of

L0:contract award. The surveillance activities performed by CORs should be tailored to the

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 1

L0:Defense FAR Supplement (DFARS) Part 201

L0:dollar value and complexity of the specific contract for which they are designated. For

L0:geographically dispersed large contracts with multiple task orders, contracting officers

L0:should consider appointing multiple or alternate CORs to assist with surveillance duties.

L0:These CORs should have specific duties based on criteria, such as geographic region

L0:or distinct task areas, to avoid conflicting or duplicative direction. Contracting officers

L0:may exempt service contracts from this requirement when?

L1:(i) The contract will be awarded using simplified acquisition procedures;

L1:(ii) The requirement is not complex; and

L1:(iii) The contracting officer documents the file, in writing, with the specific

L0:reasons why the appointment of a COR is unnecessary.

L1:(2) For supply contracts with cost-reimbursement contracts line items, contracting

L0:officers must either retain or delegate surveillance activities to a COR or DCMA. Contracting

L0:officers may delegate surveillance activities to both a COR and DCMA on the same contract.

L0:However, contracting officers must not delegate the same surveillance activities to the COR

L0:and DCMA.

L1:(3) The contracting officer must ensure the written designation required by FAR

L0:1.404(a)(1) is maintained in JAM or the SPM Module.

L1:(f) A COR must maintain an electronic COR Surveillance file in the SPM Module for

L0:each contract assigned. This file must include, at a minimum?

L1:(1) A copy of the contracting officer's letter of designation and other

L0:documentation describing the COR's duties and responsibilities; and

L1:(2) Documentation of actions taken in accordance with the delegation of

L0:authority.

L1:(g) Contracting officers, must, at a minimum, review the COR's files within six months of

L0:contract award and annually thereafter, for accuracy and completeness. More frequent

L0:reviews may be conducted in subsequent years based upon the risks, complexity, and value

L0:of the contract. The results of the contracting officer's review must be documented in the

L0:SPM Module.

L1:(h) Within 30 days of completing the COR file review, contracting officers must-

L1:(1) Provide COR performance feedback to their supervisor; and

L1:(2) Discuss any performance inadequacies with the COR.

L1:(i) Prior to contract closeout, the COR will ensure the COR Surveillance files for the

L0:assigned contract are complete and available to the contracting officer.

PART 3

203.070 Reporting of violations and suspected violations

Status: active

L0:203.070 Reporting of violations and suspected violations.

L0:Report violations and suspected violations of the following requirements in accordance

L0:with 209.406-3 or 209.407-3 and DoDD 7050.5, Coordination of Remedies for Fraud and

L0:Corruption Related to Procurement Activities:

L1:(a) Certificate of Independent Price Determination (FAR 3.103).

L1:(b) Procurement integrity (FAR 3.104).

L1:(c) Gratuities clause (FAR 3.203).

L1:(d) Antitrust laws (FAR 3.303).

L1:(e) Covenant Against Contingent Fees (FAR 3.405).

L1:(f) Kickbacks (FAR 3.502).

L1:(g) Prohibitions on persons convicted of defense-related contract felonies (203.570).

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

203.104 Procurement integrity

Status: active

L0:203.104 Procurement integrity.

203.104-1 Definitions

Status: active

L0:203.104-1 Definitions.

L0:As used in this section?

L0:Federal agency procurement, defined at FAR 3.104-1, also includes commercial

L0:solutions openings.

203.104-4 Disclosure, protection, and marking of contractor bid or proposal

Status: active

L0:203.104-4 Disclosure, protection, and marking of contractor bid or proposal

L0:information and source selection information.

L2:(d)(3) For purposes of FAR 3.104-4(d)(3) only, DoD follows the notification

L0:procedures in FAR 27.404-5(a). However, FAR 27.404-5(a)(1) does not apply to DoD.

203.170 Business practices

Status: active

L0:203.170 Business practices.

L0:To ensure the separation of functions for oversight, source selection, contract

L0:negotiation, and contract award, departments and agencies must adhere to the

L0:following best practice policies:

L1:(a) Senior leaders must not perform multiple roles in source selection for a major

L0:weapon system or major service acquisition.

L1:(b) Vacant acquisition positions must be filled on an "acting" basis from below until

L0:a permanent appointment is made. To provide promising professionals an opportunity

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 3

L0:Defense FAR Supplement (DFARS) Part 203

L0:to gain experience by temporarily filling higher positions, these oversight duties must

L0:not accrue at the top.

L1:(c) Acquisition process reviews of the military departments must be conducted to

L0:assess and improve acquisition and management processes, roles, and structures. The

L0:scope of the reviews should include?

L1:(1) Distribution of acquisition roles and responsibilities among personnel;

L1:(2) Processes for reporting concerns about unusual or inappropriate actions; and

L1:(3) Application of DoD Instruction 5000.2, Operation of the Defense Acquisition

L0:System, and the disciplines in the Defense Acquisition Guidebook.

L1:(d) Source selection processes must be?

L1:(1) Reviewed and approved by cognizant organizations responsible for

L0:oversight;

L1:(2) Documented by the head of the contracting activity or at the agency level;

L0:and

L1:(3) Periodically reviewed by outside officials independent of that office or

L0:agency.

L1:(e) Legal review of documentation of major acquisition system source selection must

L0:be conducted prior to contract award, including the supporting documentation of the

L0:source selection evaluation board, source selection advisory council, and source selection

L0:authority.

L1:(f) Procurement management reviews must determine whether clearance threshold

L0:authorities are clear and must provide independent review for acquisitions exceeding

L0:the simplified acquisition threshold.

203.171 Senior DoD officials seeking employment with defense contractors

Status: active

L0:203.171 Senior DoD officials seeking employment with defense contractors.

203.171-1 Scope

Status: active

L0:203.171-1 Scope.

L0:This section implements section 847 of the National Defense Authorization Act for

L0:Fiscal Year 2008 (Pub. L. 110-181).

203.171-2 Definition

Status: active

L0:203.171-2 Definition.

L0:As used in this section?

L0:Covered DoD official? is defined in the clause at 252.203-7000, Requirements Relating

L0:to Compensation of Former DoD Officials.

203.171-3 Policy

Status: active

L0:203.171-3 Policy.

L1:(a) A DoD official covered by the requirements of section 847 of Public Law 110-181

L0:(a ?covered DoD official?) who, within 2 years after leaving DoD service, expects to

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 3

L0:Defense FAR Supplement (DFARS) Part 203

L0:receive compensation from a DoD contractor, must, prior to accepting such

L0:compensation, request a written opinion from the appropriate DoD ethics counselor

L0:regarding the applicability of post-employment restrictions to activities that the official

L0:may undertake on behalf of a contractor.

L1:(b) A DoD contractor must not knowingly provide compensation to a covered DoD

L0:official within 2 years after the official leaves DoD service unless the contractor first

L0:determines that the official has received, or has requested at least 30 days prior to

L0:receiving compensation from the contractor, the post-employment ethics opinion

L0:described in paragraph (a) of this section.

L1:(c) If a DoD contractor knowingly fails to comply with the requirements of the

L0:clause at 252.203-7000, consider taking administrative and contractual actions,

L0:including cancellation of a procurement, rescission of a contract, or initiation of

L0:suspension or debarment proceedings (41 U.S.C. 2105(c)).

203.171-4 Solicitation provision and contract clause

Status: active

L0:203.171-4 Solicitation provision and contract clause.

L1:(a) Insert the clause at 252.203-7000, Requirements Relating to Compensation of

L0:Former DoD Officials, in all solicitations and contracts, including solicitations and

L0:contracts using FAR part 12 procedures for the acquisition of commercial products and

L0:commercial services.

L1:(b) Insert the provision at 252.203-7005, Representation Relating to Compensation
L0:of Former DoD Officials, in all solicitations, including solicitations using FAR part 12
L0:procedures for the acquisition of commercial products and commercial services and
L0:solicitations for task orders and delivery orders.

203.502-2 Subcontractor kickbacks

Status: active

L0:203.502-2 Subcontractor kickbacks.
L1:(h) See PGI 203.502-2 for a list of organizations designated for investigations of
L0:possible kickbacks.

203.570 Prohibition on persons convicted of fraud or other defense-contract-

Status: active

L0:203.570 Prohibition on persons convicted of fraud or other defense-contract-
L0:related felonies.

203.570-1 Scope

Status: active

L0:203.570-1 Scope.
L0:This section implements 10 U.S.C. 4656. For information on 10 U.S.C. 4656, see PGI
L0:203.570-1.

203.570-2 Prohibition period

Status: active

L0:203.570-2 Prohibition period.
L0:DoD has sole responsibility for determining the period of the prohibition described in
L0:paragraph (b) of the clause at 252.203-7001, Prohibition on Persons Convicted of Fraud
L0:or Other Defense-Contract-Related Felonies. The prohibition period?
L1:(a) Must not be less than 5 years from the date of conviction unless the agency head
L0:or a designee grants a waiver in the interest of national security. Follow the waiver
L0:procedures at PGI 203.570-2(a); and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 3
L0:Defense FAR Supplement (DFARS) Part 203
L1:(b) May be more than 5 years from the date of conviction if the agency head or a
L0:designee makes a written determination of the need for the longer period. The agency
L0:must provide a copy of the determination to the address at PGI 203.570-2(b).

203.570-3 Contract clause

Status: active

L0:203.570-3 Contract clause.

L0:Insert the clause at 252.203-7001, Prohibition on Persons Convicted of Fraud or Other

L0:Defense-Contract-Related Felonies, in all solicitations and contracts exceeding the

L0:simplified acquisition threshold, except solicitations and contracts for commercial

L0:products or commercial services.

203.703 Authority

Status: active

L0:203.703 Authority.

L0:The authority to act for the agency head under this subpart is limited to a level no lower

L0:than an official who is appointed by and with the advice of the Senate, without power of

L0:redlegation. For the defense agencies, for purposes of this subpart, the agency head

L0:designee is the Under Secretary of Defense (Acquisition and Sustainment).

203.806 Processing suspected violations

Status: active

L0:203.806 Processing suspected violations.

L0:Report suspected violations to the address at PGI 203.806(a).

203.900 Scope of subpart

Status: active

L0:203.900 Scope of subpart.

L0:This subpart implements 10 U.S.C. 4701 and section 883 of the National Defense

L0:Authorization Act for Fiscal Year 2021 (Pub. L. 116-283).

L2:(a)(i) 10 U.S.C. 4701 provides DoD whistleblower protection policies and procedures

L0:for contractor employees. Use sections 203.901 through 203.906 of this subpart in lieu

L0:of FAR sections 3.901 through 3.906 to implement 10 U.S.C. 4701.

L1:(ii) 10 U.S.C. 4701 does not apply to any element of the intelligence community,

L0:as defined in 50 U.S.C. 3003(4). Sections 203.901 through 203.906 do not apply to any

L0:disclosure made by an employee of a contractor or subcontractor of an element of the

L0:intelligence community if such disclosure?

L1:(A) Relates to an activity or an element of the intelligence community; or

L1:(B) Was discovered during contract or subcontract services provided to an

L0:element of the intelligence community.

L1:(c) Section 883 of the National Defense Authorization Act for Fiscal Year 2021 (Pub.

L0:L. 116-283) prohibits the award of a DoD contract to contractors that require their

L0:employees to sign internal confidentiality agreements or statements that would prohibit

L0:or otherwise restrict such employees from lawfully reporting waste, fraud, or abuse
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 3
L0:Defense FAR Supplement (DFARS) Part 203
L0:related to the performance of a DoD contract to a designated investigative or law
L0:enforcement representative within DoD authorized to receive such information.

203.901 Definitions

Status: active

L0:203.901 Definitions.
L0:As used in this subpart?
L0:Abuse of authority? means an arbitrary and capricious exercise of authority that is
L0:inconsistent with the mission of DoD or the successful performance of a DoD contract.

203.903 may file a complaint with the DoD Inspector General

Status: active

L0:203.903 may file a complaint with the DoD Inspector General.
L1:(2) A complaint may not be brought under this section more than three years after
L0:the date on which the alleged reprisal took place.
L1:(3) The complaint must be signed and must contain?
L1:(i) The name of the contractor;
L1:(ii) The contract number, if known; if not, a description reasonably sufficient to
L0:identify the contract(s) involved;
L1:(iii) The violation of law, rule, or regulation giving rise to the disclosure;
L1:(iv) The nature of the disclosure giving rise to the discriminatory act, including
L0:the party to whom the information was disclosed; and
L1:(v) The specific nature and date of the reprisal.

203.904 Procedures for filing complaints

Status: active

L0:203.904 Procedures for filing complaints.
L1:(1) Any employee of a contractor or subcontractor who believes that he or she has
L0:been discharged, demoted, or otherwise discriminated against contrary to the policy in

203.905 Procedures for investigating complaints

Status: active

L0:203.905 Procedures for investigating complaints.
L1:(1) Unless the DoD Inspector General makes a determination that the complaint is
L0:frivolous, fails to allege a violation of the prohibition in 203.903, or has been previously

L0:addressed in another Federal or State judicial or administrative proceeding initiated by
L0:the complainant, the DoD Inspector General will investigate the complaint.
L1:(2) If the DoD Inspector General investigates the complaint, the DoD Inspector
L0:General will?
L1:(i) Notify the complainant, the contractor alleged to have committed the
L0:violation, and the head of the agency; and
L1:(ii) Provide a written report of findings to the complainant, the contractor
L0:alleged to have committed the violation, and the head of the agency.
L1:(3) Upon completion of the investigation, the DoD Inspector General?
L1:(i) Either will determine that the complaint is frivolous, fails to allege a
L0:violation of the prohibition in 203.903, or has been previously addressed in another
L0:Federal or State judicial or administrative proceeding initiated by the complainant, or
L0:will submit the report addressed in paragraph (2) of this section within 180 days after
L0:receiving the complaint; and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 3
L0:Defense FAR Supplement (DFARS) Part 203
L1:(ii) If unable to submit a report within 180 days, will submit the report within
L0:the additional time period, up to 180 days, as agreed to by the person submitting the
L0:complaint.
L1:(4) The DoD Inspector General may not respond to any inquiry or disclose any
L0:information from or about any person alleging the reprisal, except to the extent that
L0:such response or disclosure is?
L1:(i) Made with the consent of the person alleging reprisal;
L1:(ii) Made in accordance with 5 U.S.C. 552a (the Freedom of Information Act) or
L0:as required by any other applicable Federal law; or
L1:(iii) Necessary to investigate the alleged reprisal.
L1:(5) The legal burden of proof specified at paragraph (e) of 5 U.S.C. 1221 (Individual
L0:Right of Action in Certain Reprisal Cases) applies for the purposes of an investigation
L0:conducted by the DoD Inspector General, decision by the head of an agency, or judicial
L0:or administrative proceeding to determine whether prohibited discrimination has
L0:occurred.

203.906 Remedies

Status: active

L0:203.906 Remedies.
L1:(1) Not later than 30 days after receiving a DoD Inspector General report in
L0:accordance with 203.905, the head of the agency must determine whether sufficient
L0:basis exists to conclude that the contractor has subjected the complainant to a reprisal
L0:as prohibited by 203.903 and must either issue an order denying relief or take one or
L0:more of the following actions:
L1:(i) Order the contractor to take affirmative action to abate the reprisal.
L1:(ii) Order the contractor to reinstate the person to the position that the person
L0:held before the reprisal, together with compensatory damages (including back pay),

L0:employment benefits, and other terms and conditions of employment that would apply
L0:to the person in that position if the reprisal had not been taken.

L1:(iii) Order the contractor to pay the complainant an amount equal to the
L0:aggregate amount of all costs and expenses (including attorneys' fees and expert
L0:witnesses' fees) that were reasonably incurred by the complainant for, or in connection
L0:with, bringing the complaint regarding the reprisal, as determined by the head of the
L0:agency.

L1:(2) If the head of the agency issues an order denying relief or has not issued an
L0:order within 210 days after the submission of the complaint or within 30 days after the
L0:expiration of an extension of time granted in accordance with 203.905(3)(ii), and no
L0:evidence exists that such delay is due to the bad faith of the complainant?

L1:(i) The complainant will be deemed to have exhausted all administrative
L0:remedies with respect to the complaint; and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 3
L0:Defense FAR Supplement (DFARS) Part 203

L1:(ii) The complainant may bring a de novo action at law or equity against the
L0:contractor to seek compensatory damages and other relief available under 10 U.S.C.
L0:4701 in the appropriate district court of the United States, which has jurisdiction over
L0:such an action without regard to the amount in controversy. Either party to the action
L0:may request a jury trial. An action under this authority may not be brought more than
L0:2 years after the date on which remedies are deemed to have been exhausted.

L1:(3) An Inspector General determination and an agency head order denying relief
L0:under paragraph (2) of this section is admissible in evidence in any de novo action at
L0:law or equity brought pursuant to 10 U.S.C. 4701(c).

L1:(4) Whenever a contractor fails to comply with an order issued by the head of the
L0:agency in accordance with 10 U.S.C. 4701, the head of the agency or designee must
L0:request the Department of Justice to file an action for enforcement of such order in the
L0:United States district court for a district in which the reprisal was found to have
L0:occurred. In any action brought under this paragraph, the court may grant appropriate
L0:relief, including injunctive relief, compensatory and exemplary damages, and
L0:reasonable attorney fees and costs. The person upon whose behalf an order was issued
L0:may also file such an action or join in an action filed by the head of the agency.

L1:(5) Any person adversely affected or aggrieved by an order issued by the head of the
L0:agency in accordance with 10 U.S.C. 4701 may obtain judicial review of the order's
L0:conformance with the law, and the implementing regulation, in the United States Court
L0:of Appeals for a circuit in which the reprisal is alleged in the order to have occurred. No
L0:petition seeking such review may be filed more than 60 days after issuance of the order
L0:by the head of the agency or designee. This review must conform to Chapter 7 of Title
L0:5, United States Code. Filing such an appeal does stay the enforcement of the order by
L0:the head of an agency, unless the court specifically enters a stay.

L1:(6) The rights and remedies provided for in this subpart may not be waived by any
L0:agreement, policy, form, or condition of employment.

203.909 Prohibition on providing funds to an entity that requires certain

Status: active

L0:203.909 Prohibition on providing funds to an entity that requires certain
L0:internal confidentiality agreements or statements.

203.909-3 Solicitation provision and contract clause

Status: active

L0:203.909-3 Solicitation provision and contract clause.
L0:Insert the provision at FAR 52.203-18, Prohibition on Contracting with Entities That
L0:Require Certain Internal Confidentiality Agreements or Statements?Representation,
L0:and the clause at FAR 52.203-19, Prohibition on Requiring Certain Internal
L0:Confidentiality Agreements or Statements, prescribed at FAR 3.909-3 to implement
L0:section 883 of the National Defense Authorization Act for Fiscal Year 2021.

203.970 Contract clause

Status: active

L0:203.970 Contract clause.
L0:Insert the clause at 252.203-7002, Requirement to Inform Employees of Whistleblower
L0:Rights, in all solicitations and contracts, including solicitations and contracts using FAR
L0:part 12 procedures for the acquisition of commercial products or commercial services.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 3
L0:Defense FAR Supplement (DFARS) Part 203

203.1003 Requirements

Status: active

L0:203.1003 Requirements.
L1:(b) Notification of possible contractor violation. Upon notification of a possible
L0:contractor violation of the type described in FAR 3.1003(b), coordinate the matter with
L0:the following office:
L0:Department of Defense Office of Inspector General, Administrative Investigations
L0:Contractor Disclosure Program, 4800 Mark Center Drive, Suite 14L25, Arlington, VA
L0:22350-1500.
L0:Toll-Free Telephone: 866-429-8011. Website:
L0:<https://www.dodig.mil/Programs/Contractor-Disclosure-Program/>.
L1:(c) Fraud hotline poster. For contracts performed outside the United States, when
L0:security concerns can be appropriately demonstrated, the contracting officer may
L0:provide the contractor the option to publicize the program to contractor personnel in a
L0:manner other than public display of the poster required by 203.1004(b)(2)(ii), such as
L0:private employee written instructions and briefings.

203.1004 Contract clauses

Status: active

L0:203.1004 Contract clauses.

L1:(a) Insert the clause at 252.203-7003, Agency Office of the Inspector General, in
L0:solicitations and contracts that include the FAR clause 52.203-13, Contractor Code of
L0:Business Ethics and Conduct.

L3:(b)(2)(ii) Unless the contract is for the acquisition of a commercial product or
L0:commercial service, insert the clause at 252.203-7004, Display of Hotline Posters, in lieu
L0:of the clause at FAR 52.203-14, Display of Hotline Poster(s), in solicitations and
L0:contracts, if the contract value exceeds \$7.5 million. If the Department of Homeland
L0:Security (DHS) provides disaster relief funds for the contract, DHS will provide
L0:information on how to obtain and display the DHS fraud hotline poster (see FAR
L0:3.1003).

252.203-7000 Requirements Relating to Compensation of Former DoD

Status: active

L0:252.203-7000 Requirements Relating to Compensation of Former DoD
L0:Officials.

L0:As prescribed in 203.171-4(a), use the following clause:

L0:REQUIREMENTS RELATING TO COMPENSATION OF FORMER DOD OFFICIALS

L0:(SEP 2011)

L1:(a) Definition. Covered DoD official, as used in this clause, means an individual
L0:that?

L1:(1) Leaves or left DoD service on or after January 28, 2008; and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 3
L0:Defense FAR Supplement (DFARS) Part 203

L2:(2)(i) Participated personally and substantially in an acquisition as defined in 41
L0:U.S.C. 131 with a value in excess of \$10 million, and serves or served?

L1:(A) In an Executive Schedule position under subchapter II of chapter 53 of
L0:Title 5, United States Code;

L1:(B) In a position in the Senior Executive Service under subchapter VIII of
L0:chapter 53 of Title 5, United States Code; or

L1:(C) In a general or flag officer position compensated at a rate of pay for grade
L0:O-7 or above under section 201 of Title 37, United States Code; or

L1:(ii) Serves or served in DoD in one of the following positions: Program manager,
L0:deputy program manager, procuring contracting officer, administrative contracting
L0:officer, source selection authority, member of the source selection evaluation board, or
L0:chief of a financial or technical evaluation team for a contract in an amount in excess of
L0:\$10 million.

L1:(b) The Contractor shall not knowingly provide compensation to a covered DoD
L0:official within 2 years after the official leaves DoD service, without first determining
L0:that the official has sought and received, or has not received after 30 days of seeking, a

L0:written opinion from the appropriate DoD ethics counselor regarding the applicability of
L0:post-employment restrictions to the activities that the official is expected to undertake
L0:on behalf of the Contractor.
L1:(c) Failure by the Contractor to comply with paragraph (b) of this clause may subject
L0:the Contractor to rescission of this contract, suspension, or debarment in accordance
L0:with 41 U.S.C. 2105(c).
L0:(End of clause)

252.203-7001 Prohibition on Persons Convicted of Fraud or Other Defense-

Status: active

L0:252.203-7001 Prohibition on Persons Convicted of Fraud or Other Defense-
L0:Contract-Related Felonies.

L0:As prescribed in 203.570-3, use the following clause:

L0:PROHIBITION ON PERSONS CONVICTED OF FRAUD OR OTHER DEFENSE- L0:CONTRACT-RELATED FELONIES (JAN 2023)

L1:(a) Definitions. As used in this clause?

L1:(1) Arising out of a contract with the DoD means any act in connection with?

L1:(i) Attempting to obtain;

L1:(ii) Obtaining; or

L1:(iii) Performing a contract or first-tier subcontract of any agency,
L0:department, or component of the Department of Defense (DoD).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 3

L0:Defense FAR Supplement (DFARS) Part 203

L1:(2) Conviction of fraud or any other felony means any conviction for fraud or a

L0:felony in violation of state or Federal criminal statutes, whether entered on a verdict or

L0:plea, including a plea of nolo contendere, for which sentence has been imposed.

L1:(3) Date of conviction means the date judgment was entered against the

L0:individual.

L1:(b) Any individual who is convicted after September 29, 1988, of fraud or any other

L0:felony arising out of a contract with the DoD is prohibited from serving?

L1:(1) In a management or supervisory capacity on this contract;

L1:(2) On the board of directors of the Contractor;

L1:(3) As a consultant, agent, or representative for the Contractor; or

L1:(4) In any other capacity with the authority to influence, advise, or control the
L0:decisions of the Contractor with regard to this contract.

L1:(c) Unless waived, the prohibition in paragraph (b) of this clause applies for not less
L0:than 5 years from the date of conviction.

L1:(d) 10 U.S.C. 4656 provides that the Contractor shall be subject to a criminal penalty
L0:of not more than \$500,000 if convicted of knowingly?

L1:(1) Employing a person under a prohibition specified in paragraph (b) of this
L0:clause; or

L1:(2) Allowing such a person to serve on the board of directors of the contractor or
L0:first-tier subcontractor.

L1:(e) In addition to the criminal penalties contained in 10 U.S.C. 4656, the
L0:Government may consider other available remedies, such as?
L1:(1) Suspension or debarment;
L1:(2) Cancellation of the contract at no cost to the Government; or
L1:(3) Termination of the contract for default.
L1:(f) The Contractor may submit written requests for waiver of the prohibition in
L0:paragraph (b) of this clause to the Contracting Officer. Requests shall clearly identify?
L1:(1) The person involved;
L1:(2) The nature of the conviction and resultant sentence or punishment imposed;
L1:(3) The reasons for the requested waiver; and
L1:(4) An explanation of why a waiver is in the interest of national security.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 3
L0:Defense FAR Supplement (DFARS) Part 203
L1:(g) Subcontracts. The Contractor agrees to include the substance of this clause,
L0:appropriately modified to reflect the identity and relationship of the parties, in all first-
L0:tier subcontracts exceeding the simplified acquisition threshold in part 2 of the Federal
L0:Acquisition Regulation, except those for commercial products, commercial services, or
L0:commercial components.
L1:(h) Pursuant to 10 U.S.C. 4656(c), defense contractors and subcontractors may
L0:obtain information as to whether a particular person has been convicted of fraud or any
L0:other felony arising out of a contract with the DoD by contacting The Office of Justice
L0:Programs, The Denial of Federal Benefits Office, U.S. Department of Justice, telephone
L1:(301) 937-1542; www.ojp.usdoj.gov/BJA/grant/DPFC.html.
L0:(End of clause)

252.203-7002 Requirement to Inform Employees of Whistleblower Rights

Status: active

L0:252.203-7002 Requirement to Inform Employees of Whistleblower Rights.
L0:As prescribed in 203.970, use the following clause:
**L0:REQUIREMENT TO INFORM EMPLOYEES OF WHISTLEBLOWER RIGHTS (DEC
L0:2022)**
L1:(a) The Contractor shall inform its employees in writing, in the predominant native
L0:language of the workforce, of contractor employee whistleblower rights and protections
L0:under 10 U.S.C. 4701, as described in subpart 203.9 of the Defense Federal Acquisition
L0:Regulation Supplement.
L1:(b) The Contractor shall include the substance of this clause, including this
L0:paragraph (b), in all subcontracts.

252.203-7003 Agency Office of the Inspector General

Status: active

L0:252.203-7003 Agency Office of the Inspector General.

L0:As prescribed in 203.1004(a), use the following clause:

L0:(End of clause)

L0:AGENCY OFFICE OF THE INSPECTOR GENERAL (AUG 2019)

L0:The agency office of the Inspector General referenced in paragraphs (c) and (d) of

L0:FAR clause 52.203-13, Contractor Code of Business Ethics and Conduct, is the DoD

L0:Office of Inspector General at the following address:

L0:Department of Defense Office of Inspector General, Administrative Investigations,

L0:Contractor Disclosure Program, 4800 Mark Center Drive, Suite 14L25, Alexandria, VA

L0:22350-1500.

L0:Toll Free Telephone: 866-429-8011. Website:

L0:<https://www.dodig.mil/Programs/Contractor-Disclosure-Program/>.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 3

L0:Defense FAR Supplement (DFARS) Part 203

252.203-7004 Display of Hotline Posters

Status: active

L0:252.203-7004 Display of Hotline Posters.

L0:As prescribed in 203.1004(b)(2)(ii), use the following clause:

L0:DISPLAY OF HOTLINE POSTERS (JAN 2023)

L1:(a) Definition. As used in this clause?

L0:United States means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Display of hotline poster(s). (1)(i) The Contractor shall display prominently the

L0:DoD fraud, waste, and abuse hotline poster prepared by the DoD Office of the Inspector

L0:General, in effect at time of contract award, in common work areas within business

L0:segments performing work under Department of Defense (DoD) contracts.

L1:(ii) For contracts performed outside the United States, when security

L0:concerns can be appropriately demonstrated, the contracting officer may provide the

L0:contractor the option to publicize the program to contractor personnel in a manner other

L0:than public display of the poster, such as private employee written instructions and

L0:briefings.

L1:(2) If the contract is funded, in whole or in part, by Department of Homeland

L0:Security (DHS) disaster relief funds and the work is to be performed in the United

L0:States, the DHS fraud hotline poster shall be displayed in addition to the DoD hotline

L0:poster. If a display of a DHS fraud hotline poster is required, the Contractor may obtain

L0:such poster from?

L1:(i) DHS Office of Inspector General/MAIL STOP 0305, Attn: Office of

L0:Investigations?Hotline, 245 Murray Lane SW., Washington, DC 20528-0305; or

L1:(ii) Via the Internet at

L0:https://www.oig.dhs.gov/assets/Hotline/DHS_OIG_Hotline-optimized.jpg.

L2:(c)(1) These DoD hotline poster may be obtained from: Defense Hotline, The

L0:Pentagon, Washington, DC 20301-1900, or is also available via the internet at

L0:<https://www.dodig.mil/Resources/Posters-and-Brochures/>.

L1:(2) If a significant portion of the employee workforce does not speak English,
L0:then the poster is to be displayed in the foreign languages that a significant portion of
L0:the employees speak.
L1:(3) Additionally, if the Contractor maintains a company Web site as a method of
L0:providing information to employees, the Contractor shall display an electronic version of
L0:the required poster at the Web site.
L1:(d) Subcontracts. The Contractor shall include the substance of this clause, including
L0:this paragraph (d), in all subcontracts that exceed the threshold specified in Defense
L0:Federal Acquisition Regulation Supplement 203.1004(b)(2)(ii) on the date of subcontract
L0:award, except when the subcontract is for the acquisition of a commercial product or
L0:commercial service.
L0:(End of clause)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 3
L0:Defense FAR Supplement (DFARS) Part 203

252.203-7005 Representation Relating to Compensation of Former DoD

Status: active

L0:252.203-7005 Representation Relating to Compensation of Former DoD
L0:Officials.
L0:As prescribed in 203.171-4(b), insert the following provision:
L0:REPRESENTATION RELATING TO COMPENSATION OF FORMER DOD
L0:OFFICIALS (SEP 2022)
L1:(a) Definition. Covered DoD official is defined in the clause at 252.203-7000,
L0:Requirements Relating to Compensation of Former DoD Officials.
L1:(b) By submission of this offer, the Offeror represents, to the best of its knowledge
L0:and belief, that all covered DoD officials employed by or otherwise receiving
L0:compensation from the Offeror, and who are expected to undertake activities on behalf
L0:of the Offeror for any resulting contract, are presently in compliance with all applicable
L0:post-employment restrictions, including those contained in 18 U.S.C. 207, 41 U.S.C.
L0:2101-2107, 5 CFR part 2641, section 1045 of the National Defense Authorization Act for
L0:Fiscal Year 2018 (Pub. L. 115-91), and Federal Acquisition Regulation 3.104-2.
L0:(End of provision)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 3
L0:Defense FAR Supplement (DFARS) Part 203
L0:PGI 203?IMPROPER BUSINESS PRACTICES AND PERSONAL CONFLICTS OF
L0:INTEREST
L0:PGI 203.5--OTHER IMPROPER BUSINESS PRACTICES
L0:PGI 203.502-2 Subcontractor kickbacks.
L0:The DoD Inspector General has designated Special Agents of the following investigative
L0:organizations as representatives for conducting inspections and audits under 41 U.S.C.
L0:chapter 87, Kickbacks:
L1:(a) U.S. Army Criminal Investigation Command.
L1:(b) Naval Criminal Investigative Service.

L1:(c) Air Force Office of Special Investigations.

L1:(d) Defense Criminal Investigative Service.

L0:PGI 203.570 Prohibition on persons convicted of fraud or other defense-contract-related felonies.

L0:PGI 203.570-1 Scope.

L0:The complete text of 10 U.S.C. 4656, Prohibition on Persons Convicted of

L0:Defense-Contract Related Felonies and Related Criminal Penalty on Defense

L0:Contractors, is available at <http://uscode.house.gov/>. Select ?Search the U.S. Code?,

L0:then type ?10 USC Sec. 4656? (including the quotation marks) in the search engine

L0>window and click on the search button.

L0:PGI 203.570-2 Prohibition period.

L2:(a)(1) Review any waiver request, and either?

L1:(i) Deny the request if the contracting officer decides the waiver is not required

L0:in the interests of national security; or

L1:(ii) Forward the request to the head of the agency or designee for approval if the

L0:contracting officer decides the waiver may be in the interest of national security.

L1:(2) The head of the agency or designee must report all waivers granted, and the

L0:reasons for granting the waiver, to the Under Secretary of Defense (Acquisition and

L0:Sustainment), who will forward the report to Congress.

L1:(3) Guidance on using the Exclusions section of the System for Award Management

L0:is available at PGI 209.105-1.

L1:(b) Submit a copy of the determination to Bureau of Justice Assistance, U.S.

L0:Department of Justice, 810 Seventh Street, NW, Washington, DC 20531.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 3

L0:Defense FAR Supplement (DFARS) Part 203

L0:PGI 203.8?LIMITATIONS ON THE PAYMENT OF FUNDS TO INFLUENCE

L0:FEDERAL TRANSACTIONS

L0:PGI 203.806 Processing suspected violations.

L1:(a) Report violations or potential violations of the Lobbying Disclosure Act (31 U.S.C.

L0:1352) through agency channels to the Office of the Principal Director, Defense Pricing,

L0:Contracting, and Acquisition Policy (Contract Policy) via email at

L1:(b) The OUSD(AT&L) memorandum dated March 5, 2012, Department of Defense

L0:Inspector General (DODIG) Report 2012-030, Contractor Compliance Varies with

L0:Classification of Lobbying Costs and Reporting of Lobbying Activities (Project No. D2010-

L0:DOOOCF-0145.000) is available here.

PART 4

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

204.201 Unique procurement instrument identifiers

Status: active

L0:204.201 Unique procurement instrument identifiers.

L1:(b) See PGI 204.201 for use of unique procurement instrument identifiers.

L1:(c) In addition to the supplementary PIID numbering procedures in FAR

L0:4.201(c), follow the procedures at PGI 204.201(c).

204.201-70 Policy

Status: active

L0:204.201-70 Policy

L0:See PGI 204.201-70 for Procurement Instrument Identifier (PIID) policy.

204.201-71 Cross reference to Federal Procurement Data System

Status: active

L0:204.201-71 Cross reference to Federal Procurement Data System.

L0:See PGI 204.201-71 for detailed guidance on mapping PIID and supplementary

L0:PIID numbers stored in the Electronic Data Access system to data elements

L0:reported in the Federal Procurement Data System

204.201-72 Order of application for modifications

Status: active

L0:204.201-72 Order of application for modifications.

L0:See PGI 204.201-72 to determine numeric sequence of contract and order

L0:modifications.

204.202-70 Uniform use of line items

Status: active

L0:204.202-70 Uniform use of line items.

L1:(a) Definitions. As used in this section?

L0: Accounting classification reference number (ACRN)? means any combination of L0: a two position alpha/numeric code used as a method of relating the accounting L0: classification citation to detailed line item information contained in the schedule.

L0: Accounting Classification? means the minimum financial data elements that L0: must be exchanged to identify the obligations that have an accounting impact for L0: final posting in the appropriate general ledger. This must not include the purchase L0: request number or commitment identification number.

L0: Attachment? means any documentation, appended to a contract or incorporated L0: by reference, which does not establish a requirement for deliverables.

L0: Commitment Identification Number? means a data element used to trace a L0: committed amount to the resulting obligation.

L0: Definitized item? means an item for which a firm price has been established in L0: the basic contract or by modification.

L0: Exhibit? means a document, referred to in a contract, which is attached and L0: establishes requirements for deliverables. The term must not be used to refer to L0: any other kind of attachment to a contract. The DD Form 1423, Contract Data L0: Requirements List, is always an exhibit, rather than an attachment.

L0: Nonseverable deliverable? means a deliverable item that is a single end product L0: or undertaking, entire in nature, that cannot be feasibly subdivided into discrete L0: elements or phases without losing its identity.

L0: Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
L0: Defense FAR Supplement (DFARS) Part 204

L1: (b) Policy.

L1: (1) Deliverables must trace back to a separately identifiable line item,
L0: deliverable subline item, or exhibit line item.

L1: (2) If a line item or subline item has subordinate exhibit line items, the line
L0: item or subline item must be informational.

L1: (3) Do not use informational line items or informational subline items to
L0: separately identify deliverables.

L1: (4) Use exhibits to separately identify data deliverables using a DD Form
L0: 1423 or its electronic equivalent.

L1: (5) Contracting officers may use exhibits to group and separately identify
L0: deliverables (e.g. initial spare parts for major weapon systems).

L1: (6) Do not use attachments to identify a deliverable requirement, including
L0: data deliverables, or otherwise provide information required to be captured as
L0: discrete data elements.

L1: (c) Applicability. Use the numbering procedures in this section when separate
L0: item numbers are assigned, unless?

L1: (1) The contract is an indefinite-delivery type for petroleum products against
L0: which military installations issue delivery orders for products to be consumed by
L0: them; or

L1: (2) The contract is a communications service authorization issued by the
L0: Defense Information Systems Agency's Defense Information Technology
L0: Contracting Organization.

L1: (d) Use of exhibits and attachments. See PGI 204.202.70(e) for guidance on the

L0:use of exhibits and attachments.

204.202-71 Establishing line items, subline, and exhibit line items

Status: active

L0:204.202-71 Establishing line items, subline, and exhibit line items.

L1:(a) Line items. When establishing line items, follow the procedures at PGI

L0:204.202-71(a).

L1:(b) Subline items. When establishing subline items, follow the procedures at

L0:PGI 204.202-71(b).

L1:(c) Exhibit line items. When establishing exhibit line items, follow the

L0:procedures at PGI 204.202-71(c).

204.202-72 Required data elements

Status: active

L0:204.202-72 Required data elements.

L1:(a) See PGI 204.202-72 for guidance on data elements required when

L0:numbering line items, exhibits, attachments, and other data requirements.

L1:(b) See PGI 204.202-72(f) for exceptions to data element requirements.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

204.202-73 Modification requirements

Status: active

L0:204.202-73 Modification requirements.

L0:See PGI 202.202-73 for new line item requirements during modifications.

204.202-74 Traceability of Appropriations

Status: active

L0:204.202-74 Traceability of Appropriations.

L0:Accounting classification reference numbers (ACRNs) ensure traceability of funds

L0:from accounting systems to contract actions. Follow the procedures at PGI 204.202-

L0:74 for use of ACRNs.

204.202-75 Numbering format for line items, subline items, and exhibit line

Status: active

L0:204.202-75 Numbering format for line items, subline items, and exhibit line

L0:items.

L0:See PGI 204.202.75 for formatting guidance on line items, subline items, and
L0:exhibit line items.

204.202-76 Payment allocation instructions

Status: active

L0:204.202-76 Payment allocation instructions.

L1:(a) Contracting officers must not require contractors to invoice for expenses at
L0:any level of detail other than by the deliverable line item, or at contract level in the
L0:case of progress payments based on costs applicable across multiple line items.
L1:(b) Follow the procedures at PGI 204.202-76 to establish the allocation of
L0:payments in contracts.

204.202-77 Payment instructions

Status: active

L0:204.202-77 Payment instructions.

L0:Follow the procedures at PGI 204.202-77 for inclusion of payment instructions in
L0:contracts.

204.202-78 Contract clauses

Status: active

L0:204.202-78 Contract clauses.

L1:(a) Insert the clause at 252.204-7002, Payment for Line or Subline Items Not
L0:Separately Priced, in solicitations and contracts when the price for items not
L0:separately priced is included in the price of another line or subline item.
L1:(b) Insert the clause at 252.204-7006, Billing Instructions?Cost Vouchers, in
L0:solicitations and contracts when a cost-reimbursement contract, a time-and-
L0:materials contract, or a labor-hour contract is contemplated.

204.203 System for Award Management

Status: active

L0:204.203 System for Award Management.

204.203-270 Procedures

Status: active

L0:204.203-270 Procedures.

L0:Follow the procedures and guidance at PGI 204.203-270 concerning Commercial
L0:and Government Entity (CAGE) codes.

204.203-271 Maintenance of the CAGE file

Status: active

L0:204.203-271 Maintenance of the CAGE file.

L0:See PGI 204.203-271 for guidance on CAGE file maintenance.

204.204 Taxpayer Identification Number Information

Status: active

L0:204.204 Taxpayer Identification Number Information.

L2:(a)(2) DoD uses the Federal Procurement Data System (FPDS) to meet these

L0:reporting requirements.

204.204-70 Taxpayer identification information collection

Status: active

L0:204.204-70 Taxpayer identification information collection.

L0:The payment office obtains the taxpayer identification number and type of

L0:organization from the System for Award Management database. This applies to

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:contracts that include the provisions at FAR 52.204-7, System for Award

L0:Management and FAR 52.204-90 Offeror Identification.

204.206 Contracting officer's signature

Status: active

L0:204.206 Contracting officer's signature.

L1:(a) Include the contracting officer's telephone number and, when available, e-

L0:mail/Internet address on contracts and modifications.

L1:(b) The contracting officer may sign bilateral modifications of a letter contract before

L0:signature by the contractor.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:PGI 204.270 Electronic Data Access.

L0:PGI 204.270-1 Policy.

L1:(a) The Electronic Data Access (EDA) system, an online repository for contractual

L0:instruments and supporting documents, is DoD's primary tool for electronic distribution

L0:of contract documents and contract data. Contract attachments must be uploaded to

L0:EDA, except for contract attachments that are classified, are too sensitive for

L0:widespread distribution (e.g., personally identifiable information and Privacy Act and

L0:Health Insurance Portability and Accountability Act or cannot be practicably converted to

L0:electronic format (e.g., samples, drawings, and models). Section J (or similar location

L0:when the Uniform Contract Format is not used) must include the annotation ?provided

L0:under separate cover? for any attachment not uploaded to EDA.

L1:(b) Agencies are responsible for ensuring the following when posting documents,

L0:including contractual instruments, to EDA?

L1:(1) The timely distribution of documents; and

L1:(2) That internal controls are in place to ensure that?

L1:(i) The electronic version of a contract document in EDA is an accurate

L0:representation of the contract; and

L1:(ii) The contract data in EDA is an accurate representation of the underlying

L0:contract.

L0:PGI 204.270-2 Procedures.

L1:(a) Maintain an account in Wide Area WorkFlow (WAWF), which provides access to

L0:Electronic Data Access (EDA) to ensure their ability to validate and verify data and

L0:documents distributed to EDA, as necessary.

L1:(b) Agencies must perform, upon deployment of any contract writing system or other

L0:source of contractual documents to be posted to EDA, an analysis to verify adequate

L0:controls are in place to ensure that contract documents including attachments, and

L0:contract data posted to EDA are accurate representations of the contract. When the

L0:procedures in this section are followed, contract documents and data in EDA are an

L0:accurate representation of the contract and therefore may be used for audit purposes.

L0:Analyses performed must include the following?

L1:(1) For documents posted in document formats (e.g., Portable Document

L0:Format (PDF)), verification that the electronic versions of contract documents posted to

L0:EDA are accurate representations of the contract; however, the electronic version is not

L0:required to display visual signatures; and

L1:(2) For data sent to EDA in the data standards at PGI 204.271 review of the

L0:data posted to EDA against the contract documents verified under PGI 204.270(b)(1) to

L0:ensure the contract data rendered in EDA is an accurate representation of the

L0:underlying contract. To facilitate this review process, all feeds of data to EDA in the

L0:Procurement Data Standard are initially placed in a view only evaluation mode, where

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:the data is not available to other systems or outside users pending verification. Upon

L0:completion of the review of data, contracting organizations must notify the EDA program

L0:office of the results of the review, with a list of the issuing offices of the contractual

L0:actions, the identifier of the system sending the actions, the version or versions of the

L0:data standards to which the review applies, and the locations of the systems sending

L0:the actions, directing one of the following decisions?

L1:(i) Delete all data sent to date (in this case the system remains in evaluation

L0:status pending further review);

L1:(ii) Delete all data sent to date, and change all subsequent data from

L0:'evaluation' to 'compliant' status; or

L1:(iii) Retain all data sent to date, and change all subsequent data from

L0:'evaluation' to 'compliant' status.

L1:(c) Contract deficiency reports. The following procedures provide details on the

L0:creation and processing of contract deficiency reports, which are used to correct

L0:problems with contracts distributed in EDA.

L1:(1) Contracting officers and all individuals tasked with creating, managing, or

L0:viewing contract deficiency reports (CDRs) must establish and maintain an account in

L0:WAWF.

L1:(2) Agencies that award or administer contracts, or perform pay office functions,

L0:should assign individuals within their organization to create, manage, and view CDRs

L0:within WAWF based on the following CDR user roles: initiator, reviewer, assignee, and

L0:view only.

L1:(3) The contracting officer must correct contract deficiencies identified in a CDR

L0:and document the steps taken to resolve the deficiency in the CDR.

L1:(4) The CDR process.

L1:(i) Creation. A CDR is created when a deficiency is identified in the

L0:procurement instrument. A list of types of CDR deficiencies is available at

L0:<https://www.acq.osd.mil/asda/dpc/ce/ds/procurement-data-standard.html>. The specifics

L0:of the deficiency must be documented in the description in enough detail to provide the

L0:assignee an understanding of the problem.

L1:(ii) Approval. Once a CDR is created, the initiator must route the CDR to

L0:their local approval official for review.

L1:(iii) Assignment. Once a CDR is approved, it is routed to the appropriate

L0:contracting activity for action.

L1:(iv) Acceptance. A CDR must be accepted or returned by the contracting

L0:activity. If a CDR is determined to have been incorrectly assigned, the contracting

L0:activity can reassign the CDR to the proper organization (if known) or reject the CDR.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(v) Resolution. The assignee must document the actions taken to resolve a

L0:CDR. If a modification has been issued to resolve the deficiency, it must be identified in

L0:the CDR. Once all deficiencies identified on a CDR have been resolved, mark the CDR

L0:as resolved. All CDRs should be resolved within 30 days of approval.

L1:(vi) Close. After resolution of a CDR, the initiator of the CDR can accept the

L0:resolution and manually close the CDR or return it to the assignee for further action.

L0:CDRs not manually closed or returned by the initiator to the assignee within 60 days

L0:after resolution will automatically be closed. Once the CDR is closed, a notification is

L0:generated advising that the CDR is closed.

L1:(5) Additional information on the CDR module of WAWF is available in PIEE at

L0:<https://piee.eb.mil/>.

L0:PGI 204.271 Contract distribution.

L1:(a) The procuring contracting officer (PCO) retains the hand signed original or

L0:digitally signed contract for the contract file. Administrative contracting officers and

L0:termination contracting officers provide electronic or the hand signed original of each

L0:modification to the PCO for retention in the contract file. Unless otherwise directed by

L0:department/agency procedures, the office issuing the orders maintains the original of

L0:orders under basic ordering agreements and the original of provisioning orders; and

L1:(b) Ensure that distribution of contracts and modifications is consistent with security

L0:directives.

L1:(c) Use the following distribution procedures?

L1:(1) Contracts and modifications must be distributed electronically (except as

L0:provided at PGI 204.270-1(a)) using the following methods:

L1:(i) Indexed Portable Document Format files must be sent via the Global

L0:Exchange system (GEX) to the Electronic Data Access (EDA) (<https://piee.eb.mil/>)

L0:system to provide a human-readable copy of contract documents.

L1:(ii) Electronic data files depicting the contract must be sent in at least one of

L0:the following formats via the GEX to EDA and to systems supporting specific offices as

L0:set forth in paragraph (B) of this section below. (Note that the GEX can be used to

L0:translate from the formats below to other formats. Organizations should send both

L0:formats in parallel unless validation failures have been eliminated.)

L0:Interchange standard transaction sets 850 and 860.

L1:(A) American National Standards Institute X.12 Electronic Data

L1:(B) Department of Defense Procurement Data Standard (PDS)

L0:Extensible Markup Language (XML) format:

L0:<https://www.acq.osd.mil/asda/dpc/ce/ds/procurement-data-standard.html>.

L1:(ii) After contract execution, provide an electronic data file copy of the

L0:contract and modifications in either X.12 or PDS XML to the following:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(A) The contract administration office, if the contracting officer

L0:delegates contract administration to another office (see FAR Subpart 42.2). The

L0:contracting officer also should provide the contract administration office with a copy of

L0:the contract distribution list, indicating those offices that should receive copies of

L0:modifications, and any changes to the list as they occur.

L0:payment office to both the new and the old payment offices.

L1:(B) The payment office. Provide any modification that changes the

L1:(C) Each accounting office whose funds are cited in the contract.

L1:(D) Each consignee specified in the contract. A transshipping terminal

L0:is not a consignee. The Defense Logistics Agency (DLA) is authorized to prescribe

L0:alternate procedures for distribution of contract documents in DLA Europe and Africa.

L0:the case of coordinated acquisition.

L1:(E) The military interdepartmental purchase request requiring activity in

L0:or amended shipping instructions under PGI 204.201(c)(1)(B) and (C).

L1:(F) The receiving activity, if the contract or modification provides initial

L1:(iii) Provide electronic notice of award via EDA to the following:

L2:(A)(1) The appropriate Defense Contract Audit Agency (DCAA) office,

L0:as listed in DCAAP 5100.1, Directory of DCAA Offices, or as obtained through the

L0:DCAA cognizant field audit office locator, both available via the Internet at

L0:<http://www.dcaa.mil>, if the contract or modification is one of the following types:

L1:(i) Cost-reimbursement.

L1:(ii) Time-and-materials.

L1:(iii) Labor-hour.

L0:incentives, economic price adjustment based on cost, or cost allowability.

L1:(iv) Fixed-price with provisions for redetermination, cost

L1:(v) Any other contract that requires audit service.

L1:(2) If there is a question as to the appropriate DCAA field audit office, request

L0:the assistance of the DCAA financial liaison advisor or the nearest DCAA field audit

L0:office.

L1:(B) Those organizations required to perform contract administration

L0:support functions (e.g., when manufacturing is performed at multiple sites, provide a

L0:copy to the contract administration office cognizant of each location).

L1:(C) The cognizant administrative contracting officer when the contract is

L0:not assigned for administration but contains a Cost Accounting Standards clause.

L0:Indicate that the copy is provided ?For Cost Accounting Standards Administration Only?

L0:(see FAR 30.601(b)); and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(D) The cognizant Defense Security Service office listed in DoD

L0:5100.76-M, Physical Security of Sensitive Conventional Arms, Ammunition, and

L0:Explosives, when the clause at DFARS 252.223-7007, Safeguarding Sensitive

L0:Conventional Arms, Ammunition, and Explosives, is included in the contract. An extract

L0:of the pertinent information can be provided instead of the contract.

L1:(3) If electronic distribution is not available, provide one paper copy to each

L0:location identified in paragraphs (c)(1) and (2) of this section.

L0:PGI 204.3?POST-AWARD

L0:PGI 204.301 Contract reporting.

L1:(a) The OSD Procurement Data Improvement Plan, posted at

L0:<https://www.acq.osd.mil/asda/dpc/ce/cap/data-improvement.html>, applies to each of the

L0:military services and agencies with procurement authority, and identifies the data

L0:validation requirements and responsibilities that support the annual Department of

L0:Defense certification identified at FAR 4.301(f)(3). These review requirements

L0:encompass contract action reports submitted to FPDS, terminations for default and

L0:other documents submitted to the Federal Awardee Performance and Integrity

L0:Information System (FAPIS) module at <https://sam.gov/fapis>, and other reporting and

L0:posting requirements.

L1:(b) Contract action reports (CARs) must be completed in compliance with the

L0:timelines established in FAR 4.301(f). CARs or their data are not available for public

L0:view or for non-DoD use until 90 days after the ?Date Signed? data element in order to

L0:minimize risk to military operations.

L0:PGI 204.301-70 General.

L2:(a)(1) Helpful documents. The Federal Procurement Data System (FPDS)

L0:website at <https://www.fpds.gov> provides useful documentation assist with FPDS data

L0:entry. The Data Dictionary and FPDS User?s Manual are provided to guide users on

L0:data requirements and to facilitate the accurate entry of data into the FPDS. These

L0:documents can be found at the top of the website homepage under the ?Training? and

L0: ?Worksite? tabs to include:

L1:(i) FPDS Data Element Dictionary. There is a Data Dictionary specific to

L0:contracts and Other Transactions. The Data Dictionary data dictionary outlines relevant

L0:information for each data field. The Data Dictionary identifies whether a data field is L0:Required, L0:Optional, L0:Propagates from the base action, L0:Not Applicable, or L0:System Generated, for each type of data entry screen (Awards, Indefinite-Delivery Vehicles, L0:Other Transactions, and Transactions/Modifications). It also identifies the source of L0:data entry (e.g., Contracting Officer, (SAM), FPDS); the format of the field; and whether L0:the field input is derived from entries in other fields. At the back of the Data Dictionary L0:is a useful summary.

L1:(ii) FPDS Data Validations. This document identifies all the validation rules L0:that are applied to data entry. Most of the rules apply Governmentwide. DoD specific L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4 L0:Defense FAR Supplement (DFARS) Part 204 L0:validation rules are clearly identified with the prefix L0:DoD throughout the document and L0:in section L0:1.5.1 DoD Specific Validations.

L1:(iii) FPDS Users Manual. This manual provides general guidance on how to L0:navigate FPDS, familiarize users with FPDS data requirements and assist them with L0:FPDS data entry. The nature of the fields in this document were determined based on L0:Governmentwide requirements. To determine DoD-specific requirements, refer to the L0:Instructions that mention L0:DoD in the FPDS Data Element Dictionary. The FPDS User L0:Manual is not a policy document; it is intended only for general guidance. Refer to PGI L0:for specific FPDS reporting requirements.

L1:(2) Reporting technical or policy issues.

L1:(i) Technical issues. To report an FPDS technical issue? L0:contract writing system administrator to determine the appropriate procedures; and L2:(A)(1) Users of contract writing systems should contact the local L0:will then contact the FPDS Help Desk if further support is required; or L1:(2) Web users should contact their local system administrator, who L1:(B) If the issue is an obvious FPDS technical issue that needs to be L0:documented and corrected by the system, the user should create and submit a trouble L0:ticket with the Federal Service Desk (<https://www.fsd.gov/>), or submit a comment or L0:request via the Live Chat at www.fsd.gov. When submitting a ticket to When e-mailing L0:FSD, also send a copy to the applicable agency representative identified in paragraph L2:(2)(iii) of this section.

L1:(ii) Policy issues. Report policy issues and submit or questions to the L0:applicable agency representative identified in paragraph (2)(iii) of this section.

L1:(iii) Agency representatives. Department and component FPDS L0:representatives and their contact information can be found at L0:<https://dodprocurementtoolbox.com/site-pages/ebusiness-fpds-ng>.

L0:PGI 204.301-72 Reporting data.

L0:The use of generic UEIs is limited to those rare circumstances outlined at FAR 4.301(e). L0:Use generic UEIs only for the purposes of reporting contract award data to the FPDS. L0:In cases where generic codes are required for reporting, use both the generic UEI and L0:its associated CAGE code. Do not enter a generic UEI, used for reporting to FPDS, nor L0:a generic CAGE code that corresponds to a generic UEI, on any contractual document. L0:Using the generic codes on actual contract actions masks the true identity of the vendor L0:and makes any accurate electronic processing of invoices, receiving reports, and

L0:payments impossible; and it can, in fact, result in misdirected payments. As a reminder
L0:FAR 4.203-1 requires each contractor be identified by its actual CAGE code on contract
L0:actions; there is no exemption to the requirement for an actual CAGE code.

L1:(a) Methods of reporting to FPDS.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(1) Individual contract action report (CAR) (one CAR per contract action). The

L0:normal method of reporting to FPDS is through the use of individual CARs.

L1:(i) An individual CAR is required to be reported for each of the following

L0:types of awards regardless of the estimated value of the award:

L1:(A) Indefinite-delivery contract.

L1:(B) Blanket purchase agreement (prescribed by FAR parts 8, 12, or 13).

L1:(C) Basic ordering agreement.

L0:obligations greater than \$0).

L1:(D) Basic agreement (only if the agreement has a value and potential

L1:(E) Task and delivery orders and calls issued under any agreement or

L0:indefinite-delivery contract (including Federal Supply Schedules, Governmentwide

L0:acquisition contracts, or multi-agency contracts).

L1:(F) Modification to any contract, agreement, order, or call where a CAR

L0:is required for the base award regardless of the amount being obligated or deobligated

L0:on the modification.

L2:(ii)(A) An individual CAR is required to be reported for each of the following

L0:types of awards when the award process was conducted using other than micro-

L0:purchase procedures and the value is greater than the micro-purchase threshold (MPT):

L1:(1) Purchase order.

L1:(2) Definitive contract.

L1:(B) Although a contract action report is not required for these awards

L0:when micro-purchase procedures were followed and the value is less than the MPT, it is

L0:encouraged as a best practice if the award was not accomplished using the

L0:Governmentwide commercial purchase card (GPC) or a Standard Form 44.

L0:Additionally, when the purchase order or definitive contract being awarded is in

L0:response to a contingency, an individual report is required when the value of the award

L0:is greater than \$25,000, not the MPT of \$40,000 referenced in FAR part 2.

L0:individual reporting.

L1:(C) See paragraphs (a)(1) and (iii) of this section for exceptions to

L1:(2) Multiple CARs (more than one CAR per contract action).

L1:(i) Prepare multiple CARs if the contract or order award is anticipated to

L0:include both foreign funding and U.S. funding.

L1:(ii) The determination of whether multiple CARs are needed for the

L0:situations described in paragraph (a)(2)(i) of this section is made when the contract or

L0:order is awarded. Contracting officers are not required to delete and re-enter CARs in

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:FPDS as multiple CARs if, during the life of the contract or order, subsequent

L0:unanticipated modifications make the award eligible for multiple CARs.

L1:(iii) The following multiple CAR transaction identification numbers have been established for reporting multiple CARs and must be used by all DoD contracting offices. Do not use transaction numbers other than ?0? if the requirements for multiple CARs in paragraphs (a)(2)(i) and (ii) of this section do not apply at the time of contract or order award. When reporting modifications, include the transaction number that was reported on the initial base award in order to properly identify the referenced contract action report. If the situation described in paragraph (a)(2)(i) of this section exists, transaction numbers should be assigned based on foreign military sales (FMS) and non-FMS rather than by type of contract pricing arrangement. Do not use multiple CARs with transaction numbers other than ?0? if the entire award is expected to be funded by foreign funding.

L0:Transaction Type

L0:No multiple CARs

L0:FMS

L0:Non-FMS

L0:Transaction Number

L0:0

L0:14

L0:16

L1:(3) Express reporting (consolidated reporting of multiple contract actions, to be submitted at least monthly).

L1:(i) Express reporting may be used for?

L1:(A) Multiple contract actions against a single contract or agreement, when monthly volume of actions is such that individual contract action reporting is overly burdensome (e.g., orders placed by the Defense Commissary Agency; installation housing maintenance; and recurring blanket purchase agreement actions);

L1:(B) Multiple contract actions accomplished away from the contracting office, such as ships away from home port; contingency, humanitarian, or peacekeeping operations; or other remote deployments;

L1:(C) Multiple delivery orders that use the GPC as both the method of purchase and payment under Federal Supply Schedules, Governmentwide acquisition contracts (GWACs), blanket purchase agreements (BPAs), basic ordering agreements (BOAs), and other indefinite-delivery type contracts;

L0:services accomplished by Defense Logistics Agency (DLA) Energy; and

L1:(D) Multiple contract actions for energy-related supplies and associated tone services, in accordance with agency procedures.

L1:(E) Orders under communications service agreements for local dial

L1:(ii) When express reports reflect more than one contractor for overseas actions or consolidated delivery orders made using the GPC where identification of the contract or agreement is not possible, use the appropriate generic UEI.

L1:(iii) When express reports are used, sum all of the actions and enter in the ?Number of Actions? data field. Also sum all of the obligations and enter in the ?Action Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4 Defense FAR Supplement (DFARS) Part 204

L0:Obligation, ? Base and Exercised Options Value, ? and ? Base and All Options Value?

L0:data fields. Express reports must be submitted no less frequently than monthly.

L1:(iv) When express reports are used, the contracting officer must maintain a

L0:log of individual actions being summarized on the express reports and ensure it is

L0:available for audit purposes. Logs must include the following, at a minimum, for each

L0:action: procurement instrument identifier (PIID) used for the express report under which

L0:action is summarized, referenced indefinite-delivery vehicles (IDV) PIID (if the express

L0:report is summarizing task/delivery/call orders), date of award, obligation amount,

L0:vendor name, and UEI (if known).

L1:(b) Actions not reported. In addition, to the types of actions listed in FAR

L0:4.301(a)(3), do not report the following types of actions to FPDS:

L1:(1) Orders placed by ordering officers against IDVs awarded by?

L1:(i) The United States Transportation Command (USTRANSCOM) or its

L0:components for decentralized transportation-related services. USTRANSCOM will

L0:report these orders. Contracting officers must submit consolidated reports of orders

L0:(bookings/bills of lading) at least annually to USTRANSCOM; or

L1:(ii) DLA Energy for energy-related supplies and associated services using

L0:defensewide working capital funds. DLA Energy will report these orders. It is the

L0:responsibility of the contracting office to ensure that orders placed against these

L0:vehicles using other than defensewide working capital funds are reported to FPDS.

L1:(2) Contracts, agreements, or orders that are themselves classified.

L1:(c) Specific instructions for entering data in FPDS.

L1:(1) Contracting officers must choose the correct FPDS format (e.g., purchase

L0:order, basic ordering agreement (BOA), blanket purchase agreement (BPA)) to report

L0:the award of a new contract, agreement, or order. Note that prior to fiscal year (FY)10,

L0:DoD offices reported BOAs and BPAs as IDCs in FPDS; BPA calls issued under those

L0:pre-FY10 reported BPAs are reported using the task/delivery order format in FPDS.

L0:BPA calls issued under DoD issued BPAs reported FY10 or later or any civilian agency

L0:issued BPA should be reported using the BPA call format.

L1:(2) The remaining instructions in this section cover the different sections of an

L0:FPDS contract action report, as presented to the user in the system. Not every data

L0:element is addressed here, as many are self-explanatory. Users should also consult

L0:the FPDS User Manual referenced in PGI 204.301-70(a)(1)(iii) for more complete

L0:descriptions and examples. Also, the instructions in this section use data field names

L0:based on what is shown to the user while entering data in FPDS; for more specific

L0:information, review the FPDS Data Element Dictionary referenced in PGI 204.301-

L0:70(a)(1)(i).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(3) FPDS Entry - Document Information Section.

L1:(i) Enter the new contract, agreement, or order number in the ?Procurement

L0:Instrument Identifier? data field. Note that new awards will be reflected as Modification 0

L0:in FPDS.

L1:(ii) If the action is a BPA awarded against a Federal Supply Schedule, enter

L0:the Federal Supply Schedule contract number in the ?Referenced IDV ID? data field.

L1:(iii) If the action is a delivery order awarded against a Federal Supply
L0:Schedule, Governmentwide acquisition contract (GWAC), BOA, or other IDC; enter that
L0:contract or BOA number in the ?Referenced IDV ID? data field.

L1:(iv) If the action is a BPA call awarded against a BPA, enter the BPA
L0:number in the ?Referenced IDV ID? data field.

L1:(v) If the action is a modification, enter the contract, agreement, or order
L0:number in the ?Procurement Instrument Identifier? data field and the modification
L0:number in the ?Modification Number? data field.

L1:(vi) If multiple reports are required by paragraph (a)(2) of this section, then
L0:enter the appropriate transaction number in the ?Transaction Number? data field.

L1:(vii) If the award is associated with a solicitation, enter the solicitation
L0:number in the ?Solicitation ID? data field.

L1:(viii) If the award is associated with an initiative identified in FPDS (e.g.,
L0:American Recovery and Reinvestment Act), choose the appropriate value in the
L0: ?Treasury Account Symbol Initiative? data field.

L1:(4) FPDS Entry -Treasury Account Symbol (TAS) data fields.

L1:(i) TAS data fields are no longer required to be entered in FPDS (as of July
L0:2016) and should be left blank; however, if correcting TAS data fields on a previously
L0:reported contract action report follow the instructions in this section.

L1:(ii) The TAS should be provided by the requiring organization with the
L0:purchase request and is often part of the line of accounting. The list of valid TAS is
L0:maintained by the Department of Treasury in the FASTBook; an on-line version of the
L0:FASTBook is available at [https://www.fiscal.treasury.gov/reference-guidance/fast-](https://www.fiscal.treasury.gov/reference-guidance/fast-book/index.html)
L0:book/index.html. Each TAS reported to FPDS includes a character agency identifier
L0:and a four-character main account code (example: 97 0100). Some TAS also require a
L0:three-character subaccount code. Note that the Department of Treasury FASTBook
L0:indicates a transition from a two-character agency identifier to a three-character agency
L0:identifier. However, at this time, DoD contracting officers are advised to drop the
L0:leading zero (0) from a three-character agency identifier and enter the next two
L0:characters in FPDS (e.g., 097 becomes 97).

L1:(iii) Report the TAS on CARs for each contract action with an obligation
L0:amount other than \$0. The TAS that is reported on a CAR should represent the
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
L0:Defense FAR Supplement (DFARS) Part 204
L0:predominant type of funding in terms of absolute dollars obligated and deobligated on
L0:the specific contract action being reported.

L1:(iv) For contract actions awarded by working capital funds offices, and the
L0:original type of funds received from the customer are not tied to specific procurements
L0:or otherwise identifiable, use the TAS that represents the working capital funds
L0:provided.

L1:(v) For contract actions funded by foreign governments, and those funds
L0:are not considered under the Foreign Military Financing Program identified by the
L0:Department of Treasury in its FASTBook, in order to report the action to FPDS using the
L0:code that most closely approximates the use of the funds, then enter?
L1:(A) 97 0100 (Operation and Maintenance, Defense-Wide, Defense) as

L0:the TAS for requirements that can be categorized as operations and maintenance in nature;

L0:that can be categorized as procurement in nature; or

L1:(B) 97 0300 (Procurement, Defense-Wide) as the TAS for requirements

L1:(C) 97 0400 (Research, Development, Test, and Evaluation, Defense-

L0:Wide) as the TAS for requirements that can be categorized as research and development in nature.

L1:(v) USTRANSCOM should use 97 0100 (Operation and Maintenance,

L0:Defense-Wide, Defense) as the TAS when reporting the consolidated orders of from their decentralized transportation-related services contracts.

L1:(5) FPDS Entry - Dates Section.

L1:(i) The ?Date Signed? data field represents the date the contracting officer signed or otherwise awarded the contract action.

L1:(ii) The ?Effective Date? data field represents the date the period of performance begins. For actions where an authorization to proceed was given prior to the signed contract action, use the date of the authorization in this data element.

L1:(iii) The date entered in the ?Completion Date? data field must be the latest period of performance / delivery date of all of the exercised line items on the contract or order. This data field must be updated on the contract action report used to report the modification whenever line items are added or exercised by modification that extend the period of performance / delivery date beyond what was previously entered, including the exercise of any option years.

L1:(iv) The date entered in the ?Estimated Ultimate Completion Date? data field must be the latest period of performance / delivery date of all line items on the contract or order, including unexercised line items and option years. This data field must be updated on the contract action report used to report the modification whenever line items are added or changed by modification that extend the period of performance/delivery date beyond what was previously entered.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(v) The date entered in the ?Last Date to Order? data field on IDCs, BOAs, and BPAs must be the last date allowed by the contract for the contractor to accept orders. This data field must be updated whenever this date is changed by modification from what was previously entered.

L1:(vi) The ?Solicitation Date? data field generally represents the date an invitation for bids, request for quotations, or request for proposals was issued to potential bidders or offerors. However, follow the instructions below for other situations where an invitation for bids, request for quotations, or request for proposals is not issued:

L1:(A) When the action is the award of an order using existing pre-priced line items under an ordering instrument where no proposal is required (i.e., there are no elements of the delivery or performance to negotiate)?

L1:(1) Orders under single-award indefinite delivery vehicles, BPA

L0:calls under single-award BPAs issued under FAR part 8, and BPA calls under BPAs

L0:issued under FAR part 12. Use the date the procurement-ready requirements package

L0:(including funded purchase request or MIPR) was provided to the contracting office as L0:the ?Solicitation Date?. If unknown, use the date of the award of the order as the L0: ?Solicitation Date?.

L1:(2) Orders under multiple-award indefinite delivery contracts and L0:BPA calls issued under multiple-award BPAs issued under FAR part 12. Use the date L0:of the survey of the multiple-award contracts or BPAs prices in accordance with FAR L0:part 8 or 16 procedures.

L1:(B) When the action is the award of a contract under a broad agency L0:announcement (BAA), use the date when a final (not draft) combined L0:synopsis/solicitation is issued as the ?Solicitation Date? except?

L1:(1) For two-step BAAs, including white paper submissions for L0:review, selection, and subsequent request for full proposals, the ?Solicitation Date? is L0:the date when the contracting officer signs the proposal request; L0:the individual call is issued; or

L1:(2) Under BAAs with calls, the ?Solicitation Date? is the date when

L1:(3) For open BAAs, when white papers and/or proposals are L0:accepted for review over an extended period (typically open for a year or longer), the L0: ?Solicitation Date? is either the date when the contracting officer signs a proposal L0:request (white papers) or the date on which the proposal is submitted, whichever is L0:earlier.

L1:(C) For awards made in response to unsolicited proposals, the L0: ?Solicitation Date? is the date when the offeror is notified of proposal acceptance for L0: negotiations and/or award.

L0:do not use the solicitation date from the indefinite-delivery contract or agreement as the

L1:(D) For orders placed under indefinite-delivery contracts or agreements, L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4 L0:Defense FAR Supplement (DFARS) Part 204

L0:date issued in the ?Solicitation Date? field unless the order was awarded at the same L0:time as the indefinite-delivery contract or agreement.

L1:(E) For new indefinite-delivery contracts awarded under a multiple- L0:award solicitation?s on-ramp procedures that were awarded at least 3 months after the L0:initial round of indefinite-delivery contracts were awarded, enter the date the awardee L0:provided a proposal as the ?Solicitation Date?.

L1:(6) FPDS Entry - Amounts Section.

L1:(ii) When entering a net deobligation on a contract action, include the minus L1:(-) sign.

L1:(ii) The amount entered in the ?Base and Exercised Options Value? for new L0:awards must be the total value (represented in U.S. dollars and cents) of all the L0:exercised line items on the contract or order regardless of whether they are partially or L0:fully funded. This data field must be updated on the contract action report used to L0:report the modification whenever the current value of the contract or order is changed L0:by modification, including when options are exercised. When reporting such a L0:modification, report the net value of the change itself in ?Current? field; FPDS will L0:calculate the new total Base and Exercised Options Value. When an Administrative L0:Contracting Officer (ACO) executes a modification and the previous value reported in

L0:FPDS is incorrect, the ACO must notify the procuring contract office of the discrepancy and enter the appropriate value in the ?Current? field of the ?Base and Exercised Options Value? to ensure a correct total is represented. The ACO must document the correction of the discrepancy in the contract file.

L1:(3) The amount entered in the ?Base and All Options Value? for new awards must be the total potential value of the award (represented in U.S. dollars and cents) (e.g., total price, total not-to-exceed amount, maximum award amount, etc.), including the value of all unexercised line items and options. For blanket purchase agreements and basic ordering agreements, enter the total expected amount for orders that will be issued. Note: on IDV formats in FPDS, this data element is named ?Base and All Options Value (Total Contract Value).?

L1:(A) For each IDC resulting from a solicitation where multiple awards were contemplated, this is the maximum for that resulting specific contract. Note: this amount is not always the same as the ceiling for the program under which multiple contracts were awarded. Each contract must have a specific ceiling identified for that specific period (see FAR 16.504-1(a)).

L1:(B) This data field must be updated on the contract action report used to report the modification whenever the total potential value is changed by modification, including changes made as a result of overruns or claims. When reporting such a modification, report the net value of the change itself in ?Current? field; FPDS will calculate the new total Base and All Options Value. When an ACO executes a modification and the previous value reported in FPDS is incorrect, the ACO must notify the procuring contract office of the discrepancy and enter the appropriate value in the ?Current? field of the ?Base and All Options Value? to ensure a correct total is represented. The ACO must document the discrepancy correction in the contract file. Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4 Defense FAR Supplement (DFARS) Part 204

L1:(iv) The amount entered in the ?Action Obligation? for new awards must be the total value of all the obligated funds on the contract or order, represented in U.S. dollars and cents. When reporting a modification, report the net value of the change in funding accomplished by the modification in the ?Current? field; FPDS will calculate the new total action obligation value. When an ACO executes a modification and the previous value reported in FPDS is incorrect, the ACO must notify the procuring contract office of the discrepancy and enter the appropriate value in the ?Current? field of the ?Action Obligation Value? field to ensure a correct total is represented. The ACO must document the discrepancy correction in the contract file.

L1:(v) The amount entered in the ?Total Estimated Order Value? for new IDC awards must be the total estimated value of all anticipated orders to be placed under the contract. For DoD, this value should match the ?Base and All Options? value, as DoD does not obligate funds on indefinite-delivery contracts themselves.

L1:(7) FPDS Entry - Purchaser Information Section.

L1:(i) Enter the contracting office's DoD Activity Address Code (DoDAAC) in as the ?Contracting Office ID? data field.

L1:(ii) If the requiring organization is a DoD organization, enter the DoDAAC or the requiring office in the ?Funding Office ID? data field. This is normally the DoDAAC

L0:that is included on the purchase request in the purchase request number. If the L0:contract action is supporting working capital funded efforts and the specific requiring L0:office is unknown, enter the DoDAAC for the working capital funded office. Do not enter L0:the DoDAAC from the contracting office in the ?Funding Office ID? field unless the L0:contracting office is also the requiring organization.

L1:(iii) If the requiring organization is not a DoD organization, enter the Funding L0:Office ID provided on the interagency agreement in the ?Funding Office ID? data field.

L1:(iv) Choose the appropriate value in the ?Foreign Funding? data field as to L0:whether or not the action includes foreign funding that is identified as FMS. If the action L0:does not include foreign funds, choose ?Not Applicable.?

L1:(8) FPDS Entry - Contractor Information Section.

L1:(i) Enter the UEI for the vendor in the ?Unique Entity Identifier? data field. L0:This UEI will be used to pull the associated current registration from the SAM database.

L1:(ii) If a SAM exception applies to the procurement, ensure the correct L0:exception is chosen from the ?SAM Exception? data field. In this case the UEI entered L0:in the ?Unique Entity Identifier? data field will be used to pull the contractor?s name and L0:location information from SAM?s UEI database instead of SAM active registrations.

L1:(9) FPDS Entry - Contract Data Section.

L1:(i) On the contract action report used to report the base award, choose the L0:type of contract pricing in the ?Type of Contract? data field that is applicable to the L0:predominant amount of the action, based on the value of the line items. This value will L0:automatically populate any subsequent contract action reports for modifications.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(ii) If the procurement is for services, enter the appropriate Inherently L0:Governmental Functions indicator:

L1:(A) ?Closely Associated? means functions that are closely associated L0:with inherently governmental functions; those contractor duties that could expand to L0:become inherently governmental functions without sufficient management controls or L0:oversight on the part of the Government. Office of Federal Procurement Policy (OFPP) L0:Policy Letter 11-01, Performance of Inherently Governmental and Critical Functions, L0:provides examples of work that is inherently governmental and therefore must be L0:performed by Federal employees and work that is closely associated with inherently L0:governmental functions that may be performed by either Federal employees or L0:contractors.

L1:(B) ?Critical Functions? means functions that are necessary to the L0:agency being able to effectively perform and maintain control of its mission and L0:operations. Typically, critical functions are recurring and long-term in duration. L0:~Critical Functions?.

L1:(C) ?Other Functions? means neither ?Closely Associated Functions? nor L0:~Critical Functions,? select ?Closely Associated, Critical Functions.?

L1:(D) For services that include performing both ?Closely Associated? and

L1:(E) If services include performing ?Other Functions? and either ?Closely L0:Associated? or ?Critical Functions,? select only the ?Closely Associated? or ?Critical L0:Functions? value.

L1:(iii) Enter "Yes" in the "Multiyear Contract" field if the procurement is a multiyear contract in accordance with FAR 17.1; otherwise enter "No".

L1:(iv) Enter the full name of the program, not an acronym or abbreviation, in the "Major Program" field if there is an associated program name. Contracts and agreements with ordering provisions established as multi-agency contracts or for wide use within an agency must always include a program name in order to ensure they are correctly represented in the Interagency Contract Directory (ICD) at <https://www.contractdirectory.gov/contractdirectory/> (see FAR 7.102(b)(4)).

L1:(v) If the procurement is as a result of a requirement responding specifically to a National Interest Action that is listed in this field (for example, "Hurricane Sandy" or "Operation Enduring Freedom (OEF)"), then select the appropriate value. Otherwise, enter "None".

L1:(vi) For indefinite-delivery contracts, enter the appropriate type of IDC in the "Type of IDC" field: Indefinite Quantity, Requirements, or Definite Quantity.

L1:(vii) For IDVs in the "Multiple or Single Award IDV" field:

L1:(A) Select "Multiple Award" when the contract action is:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:contracts awarded under a single solicitation in accordance with FAR 16.504-3;

L1:(1) One of several indefinite-delivery indefinite-quantity (IDIQ)

L1:(2) One of several blanket purchase agreements (BPAs) awarded against a Federal Supply Schedule in accordance with FAR 8.104 and FAR 12.201-1(e)(3);

L1:(3) Any other IDIQ contract that an agency enters into with two or more sources under the same solicitation that requires contracting officers to compare or compete their requirements among several vendors; or

L0:multiple awards.

L1:(4) A part 12 BPA or Basic Ordering Agreement (BOA) with above criteria for a multiple award.

L1:(B) Select "Single Award" when the contract does not satisfy any of the

L1:(viii) When reporting the initial award of IDCs and agreements that allow orders to be placed by other contracting offices, enter the acronym or short abbreviation of the program name for the program supported by the contract or agreement with ordering provisions in the "Program Acronym" field. Contracts and agreements with ordering provisions established as multi-agency contracts or for wide use within an agency must always include an acronym or abbreviated program name, and the first five characters of this field must be:

L1:(A) "FSSI-" for a federal strategic sourcing initiative (FSSI) vehicle.

L1:(B) "MMAC-" for a multiple-award multi-agency contract.

L1:(C) "SMAC-" for a single-award multi-agency contract.

L0:of the Department of Defense.

L1:(D) "MBPA-" for a blanket purchase agreement available for use outside

L1:(E) "AGYV-" for an agency-wide acquisition vehicle. For the purpose of this section, an agency-wide acquisition vehicle is an IDC, BPA, or basic ordering agreement intended for the sole use of the Department of Defense. These may be for

L0:DoD-wide use or limited to one or more specific Military Services or Defense Agencies.

L1:(ix) In the ?Cost or Pricing Data? field, enter ?Yes? if certified cost and pricing

L0:data were obtained. Enter ?Not Obtained - Waived? if the requirement for certified cost

L0:and pricing data was waived. Enter ?No? if certified cost or pricing data were not

L0:obtained and no waiver was required. See FAR 15.403 for the requirements for

L0:certified cost and pricing data.

L1:(x) Enter ?Yes? in the ?Purchase Card as Payment Method? field if the GPC

L0:was used as the method of payment or as both the method of purchase and payment

L0:for the contract action. Enter ?No? if neither was the case.

L1:(xi) In the ?Undefinitized Action? field, enter ?Letter Contract? if the

L0:procurement is a letter contract that meets the description in FAR 16.603-1. Enter

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:Other Undefinitized Action? if the procurement is for any other unpriced action that must

L0:be subsequently definitized. Enter ?No? if neither of these situations is applicable.

L1:(xii) Enter ?Yes? in the ?Performance Based Service Acquisition? field if the

L0:procurement is for services and performance based acquisition procedures were used.

L0:Enter ?No? if the procurement is for services and performance based acquisition

L0:procedures were not used. Enter ?Not Applicable? if the procurement is not for services.

L1:(xiii) In the ?Contingency Humanitarian Peacekeeping Operation? field, enter

L0:Contingency? if the procurement is in response to a contingency operation as defined in

L0:10 U.S.C. 101(a)(13) or ?Humanitarian? if the procurement is in response to a

L0:humanitarian or peacekeeping operation as defined in 10 U.S.C. 3015(2). Otherwise,

L0:enter ?Not Applicable.?

L1:(xviii) In the ?Cost Accounting Standards Clause? field, enter ?Yes? if the

L0:procurement was subject to cost accounting standards (CAS) and the associated

L0:clauses were included in the contract. Enter ?No - CAS Waiver Approved? if the

L0:procurement is subject to CAS but a waiver was approved. Enter ?Not Applicable? if

L0:neither situation applies.

L1:(xv) Consolidated Contract.

L1:(A) Enter ?Consolidated Requirements? when the requirements meet

L0:the definition of ?Consolidation or consolidated requirement? at FAR 2.101 but a written

L0:determination was not made because the estimated value of the requirements were at

L0:or below \$2 million, or the requirements are bundled and a written determination for

L0:bundling is required.

L1:(B) Enter ?Consolidated Requirements with Written Determination?

L0:when the requirements meet the definition of "Consolidation or consolidated

L0:requirement" at FAR 2.101 and a written determination is made in accordance with FAR

L0:7.107-2.

L1:(C) Enter ?Consolidated Requirements Under FAR 7.107-1(b)

L0:Exceptions? when the requirements meet the definition of "Consolidation or consolidated

L0:requirement" at FAR 2.101 but do not require a written determination in accordance with

L0:FAR 7.107-1(b).

L0:definition of "Consolidation or consolidated requirement" at FAR 2.101.

L1:(D) Enter ?Not Consolidated? when the requirements do not meet the

L1:(xvi) Enter ?1? in the ?Number of Actions? data field unless using Express

L0:Reporting procedures described in paragraph (1)(iii) of this section.

L1:(10) FPDS Entry - Legislative Mandates Section.

L1:(i) For the ?Clinger-Cohen Act,? ?Labor Standards,? ?Materials, Supplies,

L0:Articles, and Equipment,? and ?Construction Wage Rate Requirements? data elements,

L0:answer ?Yes? if the acts apply to any of the line items on the award. Choose ?Not

L0:Applicable? if the act itself is not applicable based on implementation requirements in

L0:the FAR for each act (see FAR subparts 22.10, 22.6, and 22.4, respectively), or choose

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:No? if the act is applicable, but the associated clauses were not included in the award.

L0:For the ?Clinger-Cohen Act?, choose ?No? if either the Act is not applicable or the

L0:planning requirements from the act were not accomplished.

L1:(ii) Indicate in the ?Interagency Contracting Authority? data field if the action

L0:is subject to the Economy Act, a different statutory authority, or if interagency authorities

L0:are not applicable. If the contracting officer selects ?Other Statutory Authority? in the

L0:Interagency Contracting Authority?, they must enter the name of the other authority in

L0:the associated text box.

L1:(iii) In the ?Additional Reporting? data field, select each value that represents

L0:reporting to be accomplished by the contractor that is required by the contract. Multiple

L0:values may be selected.

L0:Above.?

L1:(A) If none of the reporting requirements apply, select ?None of the

L0:14, Service Contract Reporting Requirements, is present in the contract.

L1:(B) Select ?Service Contract Inventory FAR 4.17? if FAR clause 52.204-

L0:clause 52.222-54, Employment Eligibility Verification, is included in the contract .

L1:(C) Select ?Employment Eligibility Verification (52.222-54)? if FAR

L1:(11) FPDS Entry - Principal Place of Performance Section.

L1:(i) For supplies, the data entered in this section must reflect the

L0:predominant place where manufacturing occurred or where procured finished products

L0:were taken out of inventory. Do not enter the Government delivery location. When the

L0:manufacturing or inventory location is unknown, and the contractor has not provided a

L0:separate address for the place of performance in FAR provision 52.214-14 or 52.215-6

L0:with its offer, enter the contractor?s physical address that corresponds with its

L0:registration in the System for Award Management (SAM) that is identified by its UEI and

L0:CAGE code.

L1:(ii) For services, identify the location that represents the predominant place

L0:the services are performed. For services that start performance in one location and

L0:complete performance in a different location, such as transportation and cargo shipment

L0:services, the completion or destination location must be entered. If the contract or order

L0:has multiple destination locations, enter the location where the predominant amount is

L0:being delivered.

L1:(iii) For place of performance based in the United States, ensure the zip

L0:code + 4 data element is entered. This will populate the city and state fields

L0:accordingly. Zip codes and their +4 extensions can be identified at the United States

L0:Postal Service website (www.usps.com). When a ?+4? extension cannot be determined
L0:for a zip code (for example, in a highly rural area or at a location with a vanity address),
L0:choose the ?+4? extension that represents the area nearest to the place of performance.

L1:(12) FPDS Entry - Contract Marketing Data Section. This section applies to

L0:IDVs (i.e., BOAs, BPAs, and IDCs) only.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(i) Enter the website in the ?Website URL? data field where a new user

L0:would find the best information about ordering under the vehicle. This is an optional

L0:field, but each multi-agency contract being reported should include one.

L1:(ii) In the ?Who Can Use? data field, choose the value that best represents

L0:which agencies are allowed to have their contracting officers place orders under the

L0:vehicle. If only the office that awarded the IDV is allowed to place orders under the

L0:vehicle, choose ?Only My Agency?. Do not list codes or text under the ?Codes? or

L0:?Other? options unless the vehicle only allows very specific parts of agencies to place

L0:orders.

L1:(iii) Include in the ?Email Contact? data element the specific email of the

L0:contracting officer responsible for the IDV who is able to answer questions concerning

L0:ordering. A group email address may only be used in this field if it is continuously

L0:monitored.

L1:(iv) Enter the maximum dollar value of each order that may be issued under

L0:the vehicle in the ?Individual Order / Call Limit? field.

L1:(v) Enter the fee charged to the ordering agency for allowing the ordering

L0:agency to place an order under the specific vehicle. The fee may be identified as a

L0:fixed percentage, an upper and lower amount if based on a varying factor, or as ?no

L0:fee.? This is not the fee paid to a contracting office for placing an order on behalf of a

L0:requiring office.

L1:(vi) Enter a brief description of ordering instructions in the ?Ordering

L0:Procedure? data field. If the ?Website URL? field is entered, this field is not required to

L0:be completed; however, ensure that the website provided gives the user enough

L0:information to be able to place an order.

L1:(13) FPDS Entry - Product or Service Information Section.

L1:(i) For the ?Product or service code (PSC)? data field choose the code that

L0:best represents the predominant amount of supplies or services being procured on the

L0:award. The list of active PSCs for use in FPDS reporting is available on the FPDS

L0:website under the ?Worksite? section under ?Reference?.

L1:(ii) For the ?Principal NAICS code? data field, enter the NAICS code that

L0:best represents the type of industry related to the predominant amount of supplies or

L0:services being procured on the award. If the award was a result of a solicitation that

L0:included any of the following provisions, use the NAICS code that was included in the

L0:provision: 52.204-7, System for Award Management-Registration or 52.219-1, Small

L0:Business Program Representations. The list of active NAICS codes for use in FPDS

L0:reporting is available on the FPDS website under the ?Worksite? section under

L0:?Reference?.

L1:(iii) Contract bundling.

L0:definition of ?Bundling? at FAR 2.101.

L1:(A) Enter ?Bundled Requirements? when the requirements meet the

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(B) Enter ?Substantially Bundled Requirements? when the requirements

L0:meet the definition of ?Bundling? at FAR 2.101 but has an estimated value outlined at

L0:FAR 7.107-1.

L1:(C) Enter ?Bundled Requirements Under a FAR 7.107-1(b) Exception?

L0:when the requirements meet the definition of ?Bundling? at FAR 2.101 but do not require

L0:a written determination in accordance with FAR 7.107-1(b).

L0:definition of ?Bundling? at FAR 2.101.

L1:(C) Enter ?Not Bundled? when the requirements do not meet the

L1:(iv) Enter in the ?DoD Acquisition Program? data field?

L1:(A) The Centralized Unique Program Identification (CUPID), also known

L0:as a program number, when the acquisition is part of an acquisition program for which a

L0:CUPID has been designated. The CUPID is the unique authoritative identifier for all

L0:DoD acquisition programs. CUPIDs are 3 alphanumeric characters. If needed, use the

L0:code look-up table provided for the data element in the CAR to identify the appropriate

L0:code.

L0:one of the following programs or activities:

L1:(B) The appropriate following code if a new award is associated with

L1:(1) ZBL - for Performance-Based Logistics (PBL) support.

L1:(2) ZRS - for Randolph-Sheppard Act dining facilities.

L1:(3) ZBC - for Base Realignment and Closure (BRAC)

L0:environmental activities.

L1:(4) ZDE - for Defense environmental and restoration programs.

L1:(5) ZOP - for other environmental programs.

L1:(6) ZSE - for Environmental Protection Agency (EPA) Superfund

L0:activities.

L1:(7) ZSF - prescribed under a Status of Forces Agreement (SOFA).

L1:(C) ?000? if neither (1) or (2) in this section apply.

L1:(v) Enter the country code where products were manufactured or

L0:performance of services occurred in the ?Country of Product or Service Origin? data

L0:field. If needed, use the code look-up table provided for the data element in the CAR to

L0:identify the code for a country.

L1:(vi) Place of Manufacture.

L0:for services or for unmanufactured end products (e.g., ores, food, animals).

L1:(A) Choose ?Not a Manufactured End Product? when the procurement is

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:when the procurement is for supplies acquired for use outside the United States.

L1:(B) Choose ?Manufactured Outside the U.S. - Use Outside the U.S.?

L0:States, choose one of the following:

L1:(C) If the procurement is for supplies to be used inside the United

L0:considered domestic end products (see FAR 25.101).

L1:(1) ?Manufactured in the U.S.? when the supplies that are
 L1:(2) ?Manufactured Outside the U.S. - Trade Agreements? when
 L0:the supplies are acquired subject to a Trade Agreement (see FAR 25.4) where the Buy
 L0:American Act requirements have been waived.
 L0:procurement when the supplies are considered foreign end products (see FAR 25.103):
 L1:(3) The exception to the Buy American Act that was used in the
 L1:(i) ?Manufactured Outside the U.S. - Public Interest.?
 L1:(ii) ?Manufactured Outside the U.S. - Domestic
 L1:(iii) ?Manufactured Outside the U.S. - Unreasonable Cost.?
 L1:(iv) ?Manufactured Outside the U.S. - Resale.?
 L1:(v) ?Manufactured Outside the U.S. - Commercial Information
 L0:Nonavailability.?
 L0:Technology.?
 L1:(vii) ?Manufactured Outside the U.S. - Qualifying Country.?
 L0:Only choose ?Manufactured Outside the United States - Qualifying Country? if the
 L0:country of product or service origin is one of the current qualifying countries at DFARS

L0:225.003.

L1:(vii) In the ?Domestic or Foreign Entity? data field, choose the most
 L0:applicable answer regarding the ownership of the contractor.
 L1:(viii) Indicate whether Government Furnished Property (GFP), (see FAR
 L0:45.101), is included on the award in the ?GFE/GFP Provided Under This Action? data
 L0:field.
 L1:(A) When reporting modifications to previously reported award, the CAR
 L0:should carry the same value for this data element as was on the CAR for the initial
 L0:award unless the modification itself is specifically adding GFP where the originally was
 L0:none. There is no need to create a CAR solely to report the return of GFP at the end of
 L0:performance.
 L1:(B) When reporting task, delivery, or call orders under indefinite-delivery
 L0:contracts or agreements, this data element reflects whether GFP is or is not included
 L0:specifically as a part of the order itself. The value for the underlying contract or
 L0:agreement is collected separately.
 L1:(ix) For the ?Description of requirement? data field
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
 L0:Defense FAR Supplement (DFARS) Part 204
 L1:(A) Enter a short description of what is being procured by the action.
 L0:This should be entered in plain English with no acronyms or military jargon such that the
 L0:public can understand what is being acquired by the Department. Do not use national
 L0:stock numbers, part numbers, or other identifiers without also including associated plain
 L0:English descriptions.
 L1:(B) When reporting modifications, do not use this field to explain what
 L0:type of procurement process is accomplished (e.g., exercise option year, incremental
 L0:funding); continue to address what is being procured.
 L0:DFARS 234.7202, also enter ?831 Authority?.
 L1:(C) When establishing a contract with an option or line item pursuant to
 L1:(x) For the ?Recovered materials/sustainability? data field, choose the value

L0:from the list below that reflects the requirements of sustainability incorporated into the
L0:contract or order. If there is a combination of the attributes on the contract that does not
L0:exist in the list below, choose the one from the list that most closely reflects the situation
L0:on the contract.

L1:(A) FAR 52.223-4 included. Use when the contract includes the
L0:requirement for recovered materials in accordance with FAR Subpart 23.4 and provision
L0:52.223-4, Recovered Material Certification, was included in the solicitation.

L1:(B) FAR 52.223-4 and 52.223-9 included. Use when the contract
L0:includes the requirement for recovered materials in accordance with FAR Subpart 23.1,
L0:provision 52.223-4 was included in the solicitation, and clause 52.223-9 is included in
L0:the contract.

L1:(C) No clauses included and no sustainability included. Use when the
L0:contract includes neither requirements nor provisions/clauses for recovered materials or
L0:energy efficient or biobased.

L1:(D) Energy-efficient. Use when the contract includes the requirement
L0:for energy-efficient products or sustainable products in accordance with FAR Subpart

L0:23.1.

L0:biobased products in accordance with FAR Subpart 23.1.

L1:(E) Biobased. Use when the contract includes the requirement for

L1:(F) Environmentally preferable. Do not use.

L0:the requirement for-

L1:(G) FAR 52.223-4 and energy efficient. Use when the contract includes
L0:provision 52.223-4 was included in the solicitation; and

L1:(1) Recovered materials in accordance with FAR Subpart 23.1 and
L0:with FAR Subpart 23.1.

L1:(2) Energy efficient products or sustainable products in accordance
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
L0:Defense FAR Supplement (DFARS) Part 204

L0:contract includes the requirement for-

L1:(H) FAR 52.223-4 and biobased and energy efficient. Use when the
L0:provision 52.223-4 was included in the solicitation; and

L1:(1) Recovered materials in accordance with FAR Subpart 23.1 and

L1:(2) Biobased products in accordance with FAR Subpart 23.1.

L1:(I) FAR 52.223-4 and environmentally preferable. Do not use.

L0:contract includes the requirement for-

L1:(J) FAR 52.223-4, biobased, and energy efficient. Use when the
L0:provision 52.223-4 was included in the solicitation;

L1:(1) Recovered materials in accordance with FAR Subpart 23.1 and

L1:(2) Energy efficient products in accordance with FAR Subpart 23.1;

L0:and

L0:use

L1:(3) Biobased products in accordance with FAR Subpart 23.1.

L1:(K) FAR 52.223-4, biobased and environmentally preferable. Do not

L0:preferable. Do not use. Not used.

L1:(L) FAR 52.223-4, biobased, energy efficient and environmentally

L1:(14) FPDS Entry - Competition Information Section.

L1:(i) Solicitation procedures. Select the appropriate entry from the following

L0:list:

L1:(A) Simplified Acquisition. Report this code for competitive and

L0:noncompetitive contract actions that used simplified acquisition procedures in

L0:accordance with FAR part 13. However, if the action is noncompetitive and the reason

L0:for other than full and open competition is other than ?Authorized by Statute,?

L0:?Authorized Resale,? or ?SAP Noncompetition,? then enter ?Only One Source Solicited?

L0:as the solicitation procedure. (Note that most times when in conflict, the reason for

L0:other than full and open competition takes precedence over the type of solicitation

L0:procedure used.)

L0:procedure was used or only one source is solicited for the action.

L1:(B) Only One Source Solicited. Use this code if no solicitation

L0:actions that use negotiated procedures (FAR parts 12, 13, or 15).

L1:(C) Negotiated Proposal/Quote. Use this code for competitive contract

L0:procedures (FAR part 14).

L1:(D) Sealed Bid. Use this code for contract actions using sealed bid

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:of sealed bids and negotiated procedures (FAR 6.101).

L1:(E) Two Step. Use this code for contract actions that use a combination

L1:(F) Architect-Engineer FAR 6.102. Use this code if the action resulted

L0:from selection of sources for architect-engineer contracts pursuant to FAR 6.101(b)(3).

L1:(G) Basic Research. Use this code if the action resulted from a

L0:competitive selection of basic research proposals pursuant to FAR 6.101(b)(3).

L1:(H) Alternative Sources. Use this code if the action resulted from use of

L0:procedures that provided for full and open competition after exclusion of sources to

L0:establish or maintain alternative sources pursuant to FAR 6.102.

L1:(I) Subject to Multiple Award Fair Opportunity. FPDS will automatically

L0:populate this entry for orders placed against multiple award contracts (to include

L0:Federal Supply Schedules) and FAR part 8 BPAs (and orders issued under such BPAs

L0:that are subject to fair opportunity pursuant to FAR 16.507-2(a)(1).

L1:(ii) Extent Competed. Select the appropriate entry from the following list.

L0:The extent competed for any modification or order against a task order or delivery order

L0:contract pulls from the basic contract and is shown in the ?Extent competed for

L0:referenced IDV? data field.

L1:(A) Competed under SAP. Report this for competitive contract actions

L0:that were awarded using FAR part 13 Simplified Acquisition Procedures (i.e., solicitation

L0:procedures were ?Simplified Acquisition?).

L1:(B) Full and Open Competition (F&OC). Report this if the contract

L0:action resulted from an award pursuant to FAR 6.101(b)(1), Sealed bids; FAR

L0:6.101(b)(2), Competitive proposals; FAR 6.101(b), Combination; or any other

L0:competitive method that did not exclude sources of any type.

L1:(C) F&OC after Exclusion of Sources. Report this when sources are

L0:excluded before competition. (Note: This terminology is broader than FAR Subpart 6.1,

L0:which includes set-aside actions and actions to establish or maintain alternate sources, L0:in that it also includes actions justified by a justification and approval that provided for L0:competition).

L1:(D) Not Available for Competition. Report this if the contract action is

L0:not available for competition (i.e., contract actions where the solicitation procedure was

L0:Only One Source? and the reason not competed is ?Authorized by Statute,?

L0:International Agreement,? ?Utilities,? or ?Authorized Resale.?) Note that sole source

L0:awards for 8a firms, HUBZone firms, service-related disabled veteran-owned concerns,

L0:and women-owned small business concerns (including economically disadvantaged

L0:women-owned small business concerns) should always be identified as ?Authorized by

L0:Statute? as the reason for other than full and open competition.

L1:(E) Not Competed under SAP. Report this for non-competitive contract

L0:actions that were awarded using FAR part 13, Simplified Acquisition Procedures and

L0:(i.e., solicitation procedures were ?Simplified Acquisition?).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:competed and the solicitation procedures are ?Only One Source.?

L1:(F) Not Competed. Report this when the contract action is not

L1:(iii) Type of Set-Aside.

L1:(A) If the contract action is a result of a set-aside or sole source

L0:authorized under part 19 of the FAR, choose the applicable value. In order to indicate a

L0:FAR part 19 set-aside or sole source on an order under a multiple-award contract, see

L0:paragraph (vii) of this section.

L1:(B) Note that the type of set-aside is collected on the original award. In

L0:the case of a task or delivery order being reported, the user will see the type of set-

L0:aside from the original contract in the ?Type Set Aside? data element. The ?Type of Set-

L0:Aside Source? data element is system generated to indicate whether the data in the

L0:Type Set Aside? data element was entered on the specific CAR being viewed or if it

L0:was pre-populated from the original contract award.

L1:(iv) SBIR/STTR. Ensure the ?SBIR/STTR? data field is completed if the

L0:contract action is a result of a Small Business Innovative Research (SBIR) or Small

L0:Technology Transfer Research (STTR) Program. SBIR and STTR Phase III awards

L0:require that a previous SBIR or STTR award exists.

L1:(v) Other than Full and Open Competition.

L1:(A) Simplified Acquisition Procedures (SAP). Select only ?SAP Non-

L0:Competition,? ?Authorized by Statute? if a sole source set-aside must also be noted, or

L0:Authorized for Resale? when the award is noncompetitive and simplified acquisition

L0:procedures were used. Do not choose other values from the list.

L1:(B) Other than Simplified Acquisition Procedures. Select from available

L0:values the one that matches the FAR part 6 authority referenced in the Justification &

L0:Authorization document for using other than competitive procedures. Do not choose

L0:SAP Non-competition.?

L1:(C) Acquiring Products or Services from Afghanistan. Do not use.

L1:(vi) Fair Opportunity/Limited Sources. This field is the basis for determining

L0:whether competition is provided for on orders placed against multiple-award contracts

L0:(to include DoD contracts, Governmentwide Acquisition Contracts, Federal Supply Schedules, and BPAs issued under the Federal Supply Schedules). If a Federal Supply Schedule contract or a Governmentwide multiple-award contract is not coded as a multiple-award vehicle, thereby preventing completion of this field, the FPDS user should advise the agency FPDS so that the contracting office for the multiple-award contract can be notified and pursue correction.

L0:8.102 or 16.507-6(b)(1).

L1:(A) Urgency. Report this if the action was justified pursuant to FAR

L0:pursuant to FAR 6.103-1, FAR 12.102, or 16.507-6(b)(2).

L1:(B) Only One Source. Other - Report if the action was justified

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(C) Follow-On Delivery Order Following Competitive Initial Order.

L0:Report this if the action was justified pursuant to FAR 8.405-6(a)(1)(i)(C) or 16.507-

L0:6(b)(3).

L1:(D) Minimum Guarantee. Report this if it was necessary to place an

L0:order to satisfy a minimum amount guaranteed to the contractor. See FAR 16.507-

L0:6(b)(4).

L1:(E) Other Statutory Authority. Report this if a statute expressly

L0:authorizes or requires that the purchase be made from a specified source. See FAR

L0:16.507-6(b)(5).

L0:pursuant to FAR 16.505(b)(1).

L1:(F) Fair Opportunity Given. Report this if fair opportunity was given

L1:(G) Competitive Set-Aside. Report this if the order was set aside

L0:pursuant to FAR part 19. and a sub-set of multiple-award contract holders meeting the

L0:set-aside criteria were provided fair opportunity to submit an offer. If this value is

L0:selected, also choose the appropriate set-aside in the ?Type of Set-Aside? field. Do not

L0:select this value if the original multiple award contract itself was set-aside or partially

L0:set-aside.

L1:(H) Sole Source. Report this if the order was issued pursuant to FAR

L0:part 19 and awarded to a single contract holder meeting the socio-economic criteria

L0:without providing fair opportunity to other multiple-award contract holders. If this value

L0:is selected, also choose the appropriate value in the ?Type of Set-Aside? field.

L1:(vii) If an award did not provide for full and open competition; or in the case

L0:of simplified acquisition, did not provide the maximum extent of competition practicable;

L0:select the value in the ?Other Than Full and Open Competition? field that represents the

L0:justification used.

L1:(viii) In the ?Commercial Product or Commercial Service Acquisition

L0:Procedures? data field, indicate whether commercial procedures were?

L1:(A) Used for commercial products or commercial services;

L1:(B) Used for supplies or services pursuant to FAR 12.001(b) and (c); or

L1:(D) Not used.

L1:(ix) In the ?Simplified Procedures for Certain Commercial Products or

L0:Commercial Services? data field, indicate if the contract action utilized procedures under

L0:FAR subpart 12.2.

L1:(x) In the ?A-76 Action? data field, indicate if the contract action resulted

L0:from an A-76 / FAIR Act competitive sourcing process. Note, however, that DoD is

L0:currently under a moratorium from procuring services using these procedures. See

L0:PGI 207.170 for more information.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(xi) In the ?Local Area Set Aside? data field, indicate if the contract action

L0:resulted from a local area set-aside in accordance with FAR 26.202.

L1:(xii) In the ?FedBizOpps? data field, enter ?Yes? if the award was greater

L0:than \$25,000 in value and subject to FAR 5.1 synopsis requirements. Enter ?No? if the

L0:award was greater than \$25,000 in value, but an exception to synopsis requirements

L0:applied. Enter ?Not Applicable? if the award was less than or equal to \$25,000 in value.

L1:(xiii) Number of Offers.

L1:(A) Enter the specific number of offers received in response to the

L0:solicitation. In the case of contracts awarded as a result of a Broad Agency

L0:Announcement, enter the number of proposals received under the specific

L0:announcement. In the case of orders under a multiple-award contract (including

L0:Federal Supply Schedules and GWACs), BOAs, and BPAs, enter the number of offers

L0:received for the specific order.

L1:(B) Note that the ?Number of Offers Received? is collected on the

L0:original award. In the case of a task or delivery order being reported, the user will see

L0:the number of offers from the original contract in the ?IDV Number of Offers? data

L0:element. The ?Number of Offers Source? data element is system generated to indicate

L0:whether the data in the ?Number of Offers Received? data element was entered on the

L0:specific CAR being viewed or if it was pre-populated from the original contract award.

L1:(15) FPDS Entry - Preference Programs / Other Data Section.

L1:(i) Contracting Officer?s Business Size Selection?

L1:(1) When entering a new contract, purchase order, or agreement

L0:award in FPDS, contracting officers must ensure they appropriately choose ?Small

L0:Business? or ?Other than Small Business? in the ?Contracting Officer?s Determination of

L0:Business Size? data field according to the NAICS code applied to the award, its

L0:associated size standard, and the contractor?s response to provision 52.219-1. The

L0:contracting officer must enter ?Other than Small Business? for awards where the

L0:contractor has not certified to its status in one of these provisions.

L1:(2) If the ?Contracting Officer?s Determination of Business Size?

L0:data field is completed with ?Small Business?, the contractor?s other socio-economic

L0:information that it has entered or the Small Business Administration (SBA) has provided

L0:to the System for Award Management (SAM) database will be included in the contract

L0:action report. This includes designations such as SBA-Certified 8(a), Women-owned

L0:Small Business, Service Disabled Veteran Owned.

L1:(3) Contracting officers will not be allowed to identify types of set-

L0:asides in FPDS unless the ?Contracting Officer?s Determination of Business Size? field

L0:is completed with ?Small Business,? and other required socio-economic designations

L0:are present in the Contractor?s SAM record (e.g., contractor must have the SBA-

L0:Certified 8(a) designation in order to identify an 8(a) type set-aside in FPDS).

L0:initial award will be automatically populated with the same designations.

L1:(4) All subsequent modifications and delivery orders under the

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:required for the contract action, and, if so, which type applies from the following values:

L1:(B) Subcontracting Plan. Select whether a subcontracting plan is

L1:(1) Plan Not Required;

L1:(2) Plan Not Included, No Subcontracting Possibilities;

L1:(3) Individual Subcontracting Plan;

L1:(4) Commercial Subcontracting Plan; or

L1:(5) DoD Comprehensive Subcontracting Plan.

L1:(d) Reporting modifications to FPDS.

L1:(1) Modifications against previously reported contracts, agreements, and orders

L0:are required to be reported to FPDS if they include any obligation or deobligation

L0:amount. They are also required to be reported to FPDS if there is no obligation or

L0:deobligation amount and involve a change to the data reported in any data field in the

L0:contract action report (e.g., vendor name, completion date, place of performance).

L1:(2) Contracting officers should choose the ?Reason for Modification? value that

L0:best represents the purpose of the modification action. If more than one reason for

L0:modification applies, choose the more specific value. When a name, address, UEI, or

L0:CAGE code change occurs as the result of the modification, choose ?Novation,? ?Vendor

L0:UEI Change,? or ?Vendor Address Change,? per the instructions at paragraphs (d)(5),

L1:(6), and (7), rather than other values that may also apply to the action (e.g., Exercise

L0:Option).

L1:(3) Do not use ?Close Out? as the reason for modification in FPDS unless the

L0:modification being reported actually accomplishes the close out of the award.

L1:(4) DoD offices must not use the ?Transfer Action? value in the ?Reason for

L0:Modification? field unless transferring the contract to a non-DoD contracting office (e.g.,

L0:Department of Interior).

L1:(5) Modifications for novations (see FAR Subpart 42.9 and DFARS subpart

L0:242.9) must use ?Novation Agreement? in the ?Reason for Modification? field.

L1:(i) When this value is used, the contracting officer must enter the

L0:appropriate UEI for the contractor in the modification contract action report. FPDS will

L0:then bring over the current vendor name and address from the contractor?s SAM record

L0:for that UEI into the modification contract action report. Subsequent contract action

L0:reports will show the updated UEI and vendor name.

L1:(ii) When this value is used, FPDS also allows the contracting officer to

L0:update the ?Contracting Officer?s Determination of Business Size? data field. The

L0:contracting officer must ensure that the contractor?s current size status is appropriately

L0:recorded on the modification contract action report. Subsequent contract action reports

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:will reflect the size entered on this modification contract action report (see FAR subpart

L0:19.301.

L1:(6) Modifications for contractor name changes that do not require a novation

L0:(see FAR Subpart 42.9 and DFARS Subpart 242.9) must use ?Vendor UEI Change? in L0:the ?Reason for Modification? field. When this value is used, the contracting officer must L0:enter the appropriate UEI for the contractor in the modification contract action report. L0:FPDS will then bring over the current vendor name and address from the contractor?s L0:SAM record for that UEI into the modification contract action report. Subsequent L0:contract action reports will show the updated UEI and vendor name.

L1:(7) Modifications for contractor address changes that do not require a novation L0:must use ?Vendor Address Change? in the ?Reason for Modification? field. When this L0:value is used, FPDS will bring over the current address from the contractor?s SAM L0:record into the modification contract action report. Subsequent contract action reports L0:will show the updated address.

L1:(8) Modifications for re-representation actions (see FAR 19.301(a) and L0:19.301(c) must use either ?Re-representation? or ?Re-representation of Non-Novated L0:Merger/Acquisition?, as appropriate, in the ?Reason for Modification? field. When this L0:value is used, FPDS allows the contracting officer to update the ?Contracting Officer?s L0:Determination of Business Size? data field. The contracting officer must ensure that the L0:contractor?s current size status is appropriately recorded on the modification contract L0:action report. Subsequent contract action reports will reflect the size entered on this L0:modification contract action report.

L1:(9) When a modification is reported with ?Termination for Default? or L0:?Termination for Cause? in the ?Reason for Modification? data field, the user must also L0:report the termination to the Federal Awardee Performance and Integrity Information L0:System (FAPIS) contained at <https://sam.gov/fapis> in accordance with FAR 42.1103(g) L0:requirements.

L1:(e) Reporting awards where the GPC is both the method of purchase and payment.

L1:(1) Do not report open-market purchases (i.e., not under a Federal Supply L0:schedule, agreement, or contract) made with the GPC valued less than the micro- L0:purchase threshold to FPDS.

L1:(2) Purchases made using the GPC as the method of both purchase and L0:payment under federal schedules, agreements, or contracts are required to be reported L0:to FPDS regardless of value. Contracting offices must ensure all such purchases made L0:by their authorized cardholders are reported to FPDS at least monthly. Any individual L0:purchase valued greater than \$25,000 must be reported individually to FPDS. For L0:individual purchases valued less than \$25,000, there are three acceptable methods for L0:reporting to FPDS. They are, in preferred order of use?

L1:(i) Report each order individually to FPDS;

L1:(ii) Report a consolidated express report to FPDS using the delivery order L0:or BPA call format that references the individual contract or BPA, respectively; or L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4 L0:Defense FAR Supplement (DFARS) Part 204

L1:(iii) Report a consolidated express report to FPDS using the purchase order L0:format that uses the generic UEI R5NWZ87HPLX4 for ?GPC Consolidated Reporting? or L0:U9X7H1UVY6U5 for ?GPC Foreign Contractor Consolidated Reporting?, as appropriate, L0:as the identifier. Note that when a generic UEI is used to report these actions, only L0:?Other than Small Business? is allowed as the ?Contracting Officer?s Determination of

L0:Business Size? selection.

L1:(3) For orders placed on FedMall, contracting officers are not required to

L0:separately report such awards to FPDS.

L1:(f) Using generic entity identifier .

L1:(1) Generic entity identifiers may only be used for reporting to FPDS in

L0:accordance with FAR 4.301(e) or paragraph (c)(5)(ii)(C) of this section. Note that if a

L0:generic entity identifier is used on the report to FPDS, systems that prepopulate data

L0:based on the UEI reported to FPDS may not be able to use the UEI for further reporting

L0:on that contract action because the contractor identification information is not accurately

L0:reflected. For example, assessing officials cannot report past performance reports to

L0:the Contractor Performance Assessment Reporting System (CPARS) (see FAR Subpart

L0:42.11) if a generic entity identifier was used to report the action to FPDS. Additionally,

L0:some reporting requirements placed on the contractor, such as subcontract reporting

L0:required by FAR subparts 4.3 and 19.2, are not able to be completed. Therefore, it is

L0:important that the use of generic UEIs in reporting to FPDS be rare and only when

L0:necessary.

L1:(2) The following generic entity identifiers are available for use in contract

L0:reporting only if the conditions in FAR 4.301(e) or paragraph (5)(ii)(C) of this section

L0:apply:

L1:(i) Generic entity identifier LX9KAH68DKV5 - Student Workers in

L0:Laboratories. Used to report actions awarded to student workers providing

L0:goods/services in Government laboratories (or other Government facilities) when

L0:obtaining a UEI would place a financial hardship on the student. Corresponding CAGE

L0:code in the System for Award Management (SAM): 35HL9.

L1:(ii) Generic entity identifier LN9PU5M2YZN5 - Miscellaneous Foreign

L0:Awardees. Used to report actions awarded to vendors located outside the United

L0:States providing goods/services when a specific UEI is not available. Corresponding

L0:CAGE code in SAM: 35KC0.

L1:(iii) Generic entity identifier L2UVLEUTJU39 - Spouses of Service

L0:Personnel. Used to report actions awarded to service personnel dependents located

L0:and providing goods/services outside the United States when obtaining a UEI would

L0:place a financial hardship on the dependent. Corresponding CAGE code in SAM:

L0:3JDV7.

L1:(4) Generic entity identifier KBD2CJ5JXJV5 - Navy Vessel Purchases In

L0:Foreign Ports. Used to report actions awarded to vendors located outside the United

L0:States providing goods/services in support of vessels located in foreign ports when a

L0:specific UEI is not available. Corresponding CAGE code in SAM: 35KD3.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(5) Generic entity identifier JKRMS84PMND5 - Foreign Utility Consolidated

L0:Reporting. Used to report procurement actions awarded to vendors located outside the

L0:United States providing utilities goods/services when a specific UEI is not available.

L0:Corresponding CAGE code in SAM: 3JDX5.

L1:(6) Generic entity identifier KA5HQCLKUVW1 - Domestic Awardees

L1:(Undisclosed). Used to report actions awarded to vendors located in the United States

L0:where identifying the vendor could cause harm to the mission or the vendor (for L0:example, domestic shelters). Corresponding CAGE code in SAM: 3JEH0.

L1:(7) Generic entity identifier NN2NGPDNCK23 - Foreign Awardees

L1:(Undisclosed). Used to report actions awarded to vendors located outside the United

L0:States when identifying the vendor could cause harm to the mission or the vendor.

L0:Corresponding CAGE code in SAM: 3JEV3.

L1:(8) Generic entity identifier R5NWZ87HPLX4 - GPC Consolidated

L0:Reporting. Used to report orders and calls issued via the GPC under indefinite-delivery

L0:type contracts and agreements to businesses located in the United States, and the UEI

L0:for the vendor is not available to the office reporting the action. Corresponding CAGE

L0:code in SAM: 3JDW4.

L1:(9) Generic entity identifier U9X7H1UVY6U5 - GPC Foreign Contractor

L0:Consolidated Reporting. Used to report orders and calls issued via the GPC under

L0:indefinite delivery type contracts and agreements to businesses located outside the

L0:United States, and the UEI for the vendor is not available to the office reporting the

L0:action. Corresponding CAGE code in SAM: 3JDV9.

L1:(g) Contract Action Report Status.

L1:(1) The ?Status? data element on contract action reports indicates whether an

L0:award is still open or officially ?closed? and applies to the family of actions comprising

L0:the contract or order (i.e., includes all modifications to that contract or order). Values in

L0:this field will either be null (blank), indicating that the contract is still open; or ?Closed,?

L0:indicating the contract or order has completed closeout activities in accordance with

L0:FAR 4.308, as supplemented. Awards without the ?Closed? status are assumed to still

L0:be open and either still within the established delivery dates or period of performance,

L0:or in a post-performance period preparing for closeout.

L1:(2) The ?Status? is changed to ?Closed? in one of three ways:

L1:(i) User reports a modification using ?Closeout? in the ?Reason for

L0:Modification? field. This should be rare and only occur when a modification being issued

L0:actually closes the award in that modification (not just prepares for it). If a contract

L0:action report is finalized with ?Closeout? as the value, it will no longer be able to be

L0:corrected by the user. Users will need to contact the FPDS help desk to perform any

L0:corrections.

L1:(ii) User with ?Closeout? privileges in FPDS marks the award as closed.

L0:This will be rare in DoD; only the DoD and Service lead system administrators will be

L0:given these privileges.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(iii) An agency system sends a ?Close? notice via web services to FPDS.

L1:(3) When the ?Status? is changed to ?Closed? that status is applied to the

L0:contract or order and all of its subsequent modifications. Closed notices received for

L0:task, delivery, and call orders placed under IDCs or agreements do not cause the IDC

L0:or agreement to be closed. Closed notices received for IDCs or agreements do not

L0:cause task, delivery, and call orders placed under them to be closed.

L1:(4) Once a contract or order, and its modifications, has been marked as

L0:?'Closed?' the user or agency cannot change the status and will need to contact the

L0:FPDS help desk to remove the status if it was marked in error.

L0:PGI 204.303 Service contracts inventory.

L0:PGI 204.303-70 DoD reporting thresholds.

L2:(b)(2) Contracts or task orders that meet the threshold at DFARS 204.303-70(b)(1)

L0:and are assigned the following Product Service Codes require service contract

L0:information to be reported in the System for Award Management:

L0:Portfolio Group

L0:First 2 Digits

L0:Logistics Management Services

L0:Equipment Related Services

L0:M1

L0:R6

L0:R7

L0:S2

L0:V0

L0:V1

L0:V3

L0:W0

L0:H1

L0:H2

L0:H3

L0>Last 2 Digits

L0:GA

L0:GD

L0:GZ

L0:02

L0:04

L0:13

L0:06

L0:15

L0:01-03

L0:19

L0:01-02

L0:10-20

L0:22-26

L0:28-32

L0:34-49

L0:51-56

L0:10-20

L0:22-26

L0:28-32

L0:34-49

L0:51-53

L0:10-20

L0:22-26

L0:28-32

L0:34-49

L0:81

L0:65-69

L0:71

L0:73-75

L0:77-81

L0:85

L0:55-56

L0:65-69

L0:71

L0:73

L0:76-81

L0:51-56

L0:65-69

L0:73-81

L0:83-85

L0:87-88

L0:91

L0:93-96

L0:99

L0:83-85

L0:87-88

L0:91

L0:93-96

L0:99

L0:87-89

L0:91

L0:93-96

L0:99

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:Portfolio Group

L0:First 2 Digits

L0>Last 2 Digits

L0:10-20

L0:22-26

L0:28-32

L0:34-49

L0:51-56

L0:10-20

L0:22-26

L0:28-32

L0:34-40

L0:42

L0:43-49

L0:10-20

L0:22-26

L0:28-32

L0:34-40

L0:42

L0:43-49

L0:10-20

L0:22-26

L0:28-32

L0:34-49

L0:51-56

L0:10-20

L0:22-26

L0:28-32

L0:34-40

L0:42-44

L0:46-49

L0:10-20

L0:22-26

L0:28-32

L0:34-37

L0:39-40

L0:42-44

L0:46-49

L0:87-89

L0:91

L0:93-96

L0:99

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L0:77-81

L0:84-85

L0:51-55

L0:62

L0:66-69

L0:73

L0:77-81

L0:83-85

L0:00

L0:99

L0:51-53

L0:60

L0:66

L0:68-69

L0:73

L0:77

L0:01-22

L0:24-25

L0:99

L0:58-63

L0:70

L0:H9

L0:J0

L0:J9

L0:K0

L0:L0

L0:N0

L0:P1

L0:P2

L0:P3

L0:P9

L0:W0

L0:D3

L0:H1

L0:H2

L0:H3

L0:H9

L0:Electronics and Communications

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:Portfolio Group

L0:First 2 Digits

L0:N0

L0:Last 2 Digits

L0:J0

L0:K0

L0:W0

L0:L0

L0:R4

L0:S2

L0:AA

L0:AE

L0:AB

L0:AH

L0:AS

L0:AC

L0:AD

L0:AF

L0:AK

L0:AM

L0:AZ

L0:AG

L0:AN

L0:AT

L0:AJ

L0:AV

L0:AL

L0:AP

L0:AQ

L0:AR

L0:58-61

L0:63

L0:70

L0:99

L0:58-61

L0:63

L0:70

L0:58-61

L0:62-63

L0:70

L0:1330

L0:06

L0:11

L0:16

L0:26

L0:36

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L0:26

L0:36

L0:Knowledge Based Services

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:Portfolio Group

L0:First 2 Digits

L0>Last 2 Digits

L0:B5

L0:G0

L0:R4

L0:R6

L0:R7

L0:T0

L0:U0

L0:37-55

L0:99

L0:22-29

L0:31

L0:97-99

L0:02-07

L0:09-10

L0:13

L0:01-02

L0:04-06

L0:08

L0:10-12

L0:16-22

L0:24-30

L0:32-34

L0:01-10

L0:99

L0:14

L0:16

L0:18

L0:20

L0:03

L0:05-12

L0:14-15

L0:99

L0:01-05

L0:07-13

L0:99

L0:01-16

L0:99

L0:01-14

L0:99

L0:PGI 204.304 System For Award Management.

L0:PGI 204.304-70 Procedures.

L0:The System for Award Management (SAM) website at <https://www.sam.gov> provides

L0:useful documents and online training to assist with SAM navigation and data entry. User

L0:guides and demonstration videos can be found on the SAM homepage, the SAM Help

L0:section located at the top of the website homepage, and the Federal Service Desk

L1:(FSD) website at <https://www.fsd.gov>.

L1:(a) Use SAM as the primary source of contractor information for contract award and

L0:administration, to include supporting contract writing, management, and administration

L0:systems. Do not request or use contractor information from other sources, unless

L0:another source is specifically authorized. At a minimum, supporting systems must use

L0:SAM as the authoritative source for the following data elements, as applicable by

L0:system, when SAM is required in accordance with FAR 4.304:

L1:(1) Unique entity identifier (UEI).

L1:(2) Commercial and Government Entity (CAGE) code.

L1:(3) Taxpayer Identification Number (TIN).

L1:(4) Legal business name.

L1:(5) Doing business as (DBA) name.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(6) Physical address.

L1:(7) Mailing address.

L2:(8)(i) Electronic Funds Transfer (EFT) information (includes American Banking

L0:Association (ABA) routing number, account number, and account Type) and any

L0:additional EFT indicators.

L1:(ii) Ensure that SAM nondisclosure requirements regarding TIN and EFT

L0:information are followed.

L0:PGI 204.308 Contract closeout.

L0:PGI 204.308-170 Procedures for closing out contract files.

L1:(a) Data supporting contract closeout (e.g., DD Form 1594, Contract Completion L0:Statement) are electronically transmitted throughout DoD. Defense Logistics Manual L0:4000.25, Defense Logistics Management Standards (DLMS), Volume 7, Contract L0:Administration, Chapter 4, Contract Completion Status Reporting, available L0:at <https://www.dla.mil/Defense-Data-Standards/Publications/Vol-7-Administration/>, L0:contains detailed instructions regarding closeout and electronic data transmission.

L1:(1) The administration office closeout date for file purposes will be the date in L0:Block 9d of the DD Form 1594 or agency equivalent.

L1:(2) If the contracting office must do a major closeout action that will take longer L0:than 3 months after the date shown in Block 9d of the DD Form 1594?

L1:(i) The purchasing office closeout date for file purposes will be the date in L0:Block 10e of the DD Form 1594 or agency equivalent; and

L1:(ii) The contracting office must notify the contract administration office of the L0:revised closeout date by either sending a copy of the completed DD Form 1594 or by L0:electronically transmitting the data.

L1:(3) Completion of block 10 is not required, when the contracting office accepts L0:the closeout date in block 9d of the DD Form 1594 (or agency equivalent) and the L0:contract completion statement is posted to the Electronic Data Access (EDA) system as L0:required by PGI 204.271.

L1:(4) Closeouts posted to EDA are considered part of the contract file and do not L0:need to be duplicated in any other version of the contract file.

L1:(5) A contract modification is not needed to deobligate excess funds when block L0:5 is completed, and this deobligation will occur upon distribution of the contract L0:completion statement. Send a notification and a copy of the contract completion L0:statement to the comptroller to allow general ledger reconciliation.

L1:(6) A contract qualifies for an automated closeout process if the contract?

L1:(i) Only has firm-fixed-price line items;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
L0:Defense FAR Supplement (DFARS) Part 204

L1:(ii) Does not exceed \$500,000; and

L1:(iii) Does not include any of the following provision and clauses:
L0:Research and Development.

L1:(A) FAR 52.211-11, Liquidated Damages?Supplies, Services, or

L1:(B) FAR 52.216-7, Allowable Cost and Payment.

L1:(C) FAR 52.227-9, Refund of Royalties.

L1:(D) FAR 52.227-11, Patent Rights?Ownership by the Contractor.

L1:(E) FAR 52.227-13, Patent Rights?Ownership by the Government.

L1:(F) FAR 52.232-16, Progress Payments.

L0:Commercial Products and Commercial Services.

L1:(G) FAR 52.232-29, Terms for Financing of Purchases of

L0:Products and Commercial Services.

L1:(H) FAR 52.232-30, Installment Payments for Commercial

L1:(I) FAR 52.232-32, Performance-Based Payments.

L1:(J) FAR 52.245-1, Government Property.

L1:(K) FAR 52.248-1, Value Engineering.

L0:requirements have been completed prior to closeout.

L1:(iv) DoD components may add further limitations to ensure all contract

L1:(v) Basic ordering agreements, blanket purchase agreements, and

L0:indefinite-delivery contracts can be automatically closed using automated contract

L0:closeout procedures after all orders are closed and the ordering period has expired.

L1:(b) A department or agency requesting a waiver of any provisions of acquisition

L0:law or regulation to carry out the closeout procedures must forward the request and any

L0:supporting documentation to the Office of the Principal Director, Defense Pricing,

L0:Contracting, and Acquisition Policy (Contract Policy) via osd.pentagon.ousd-a-

L0:s.mbx.dpc-cp@mail.mil. The Principal Director, Defense Pricing, Contracting, and

L0:Acquisition Policy, will forward the request to USD(A&S), as appropriate.

L0:PGI 204.308-171 Procedures for closing out contract files- Governmentwide

L0:commercial purchase card as the sole payment.

L0:When the Governmentwide commercial purchase card is the sole method of payment?

L1:(a) The contractor's final invoice is not required to close a contract or order; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(b) The contract completion statement?

L1:(1) Does not require the final voucher number and date;

L1:(2) Does not require the final invoice number and date; however

L1:(3) Requires the final acceptance date.

L1:(c) Additional guidance on the Governmentwide commercial purchase card can be

L0:found at <https://www.acq.osd.mil/asda/dpc/ce/pc/docs-guides.html>.

L0:PGI 204.308-2 Contract closeout by the office administering the contract.

L1:(a) Locally developed forms or a statement of completion may be used instead of

L0:the DD Form 1594, Contract Completion Statement, and use the administration office

L0:closeout date. Whichever method is used, the form must be retained in the contract file

L0:and copies sent to EDA and financial systems using the American National Standards

L0:Institute (ANSI) X12 Electronic Data Interchange (EDI) 567 transaction set.

L1:(b) For contracts valued above the simplified acquisition threshold, prepare a DD

L0:Form 1597, Contract Closeout Check List (or agency equivalent), to ensure that all

L0:required contract actions have been satisfactorily accomplished.

L0:PGI 204.308-270 Closeout of the contracting office files if another office

L0:administers the contract.

L1:(a) When an office other than the contracting office administers the contract, the

L0:administering office must?

L1:(1) Provide the contracting office an interim contract completion statement when

L0:the contract is physically completed using the ANSI X12 567;

L1:(2) Prepare a DD Form 1597, Contract Closeout Check List or agency

L0:equivalent, if necessary, to determine that all the required actions have been completed;

L1:(3) Initiate DD Form 1593, Contract Administration Completion Record, if

L0:necessary to obtain statements from other organizational elements that they have

L0:completed the actions for which they are responsible; and

L1:(4) Upon final payment?

L1:(i) Process a DD Form 1594 or the electronic equivalent verifying that all

L0:contract administration office actions have been completed; and

L1:(ii) Send the original DD Form 1594 or the electronic equivalent to the

L0:contracting office for filing in the contract file and send a copy to EDA and financial

L0:systems using the ANSI X12 567.

L1:(b) If the administrative contracting officer (ACO) cannot close out a contract within

L0:the specified time period (see FAR 4.308-2), the ACO must notify the procuring

L0:contracting officer (PCO) within 45 days after the expiration of the time period of?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(1) The reasons for the delay; and

L1:(2) The new target date for closeout.

L1:(c) If the contract still is not closed out by the new target date, the ACO must again

L0:notify the PCO with the reasons for delay and a new target date.

L0:PGI 204.70?RESERVED

L0:PGI 204.71?RESERVED.

L0:PGI 204.76?SUPPLIER PERFORMANCE RISK SYSTEM

L0:PGI 204.7603 Procedures.

L0:The Supplier Performance Risk System (SPRS) provides item risk, price risk, and

L0:supplier risk assessment on end products and price risk and supplier risk assessment

L0:on services. SPRS provides item and price risk for end products using the material

L0:identifiers listed in paragraphs (a)(1)(i) through (v). SPRS also provides a supplier risk

L0:score for the contractor that provided the product or services. The contracting officer

L0:may consider item risk, price risk, and supplier risk assessments to determine the

L0:performance risk of the offeror or product and to assess the risk of ongoing contractor

L0:performance.

L1:(a) Item risk.

L1:(1) SPRS provides the contracting officer warnings and mitigation strategies for

L0:end products identified by military departments or defense agencies as high risk (due to

L0:diminishing manufacturing sources and material shortages, history of counterfeiting,

L0:etc.). End products are identified by one or more of the following material identifiers:

L1:(i) National Stock Number (NSN).

L1:(ii) Internet Blog Serial Number (IBSN).

L1:(iii) Universal Product Code (UPC).

L1:(iv) Global Standards 1 (GS1).

L1:(v) Manufacturer Commercial and Government Entity (CAGE) and part

L0:number.

L1:(2) Presolicitation. For items identified as high risk in SPRS or by the requiring

L0:activity in purchase requests, the contracting officer must mitigate this risk by including

L0:a clause that addresses first article approval or certificate of conformance in the

L0:solicitation or by applying other risk mitigation strategies.

L1:(b) Price risk. SPRS provides the contracting officer warning of possible over- or

L0:under-payment risks based on historical purchase data.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(c) Supplier risk. SPRS provides the contracting officer a score for the assessment

L0:of the contractor's performance. The supplier risk score includes data associated with

L0:the contractor's quality and delivery data.

L1:(d) Evaluation of quotations or offers for supplies. During the evaluation of the

L0:offers received for supplies or services that contain supplies, the contracting officer

L0:must consider the risk assessments available in SPRS.

L1:(e) Award and documentation.

L1:(1) In determining a price fair and reasonable, the contracting officer must

L0:review the price risk data provided in SPRS and follow the procedures at

L0:FAR 12.203 or 15.4 to make an award decision. In the event that price risk has been

L0:identified, the contracting officer must perform further price analysis.

L1:(2) In assessing offeror performance capabilities, the contracting officer must

L0:review the supplier risk data provided in SPRS and tailor the contract oversight for risk.

L0:Mitigate supplier risk by?

L1:(i) Including clauses to strengthen oversight (e.g., a clause that addresses

L0:first article testing or certificate of conformance); and

L1:(ii) Removing discretionary clauses to recognize successful performance

L0:(e.g., a clause that addresses first article testing).

L1:(3) The contracting officer must document the contract file on any action taken

L0:as a result of information obtained from SPRS.

204.208 Solicitation provisions and contract clauses

Status: active

L0:204.208 Solicitation provisions and contract clauses.

204.208-70 Solicitation provisions and contract clauses

Status: active

L0:204.208-70 Solicitation provisions and contract clauses.

L0:When using the provision at FAR 52.204-7, System for Award Management?

L0:Registration?

L1:(a) Insert the provision with 252.204-7998, Alternate A, Annual

L0:Representations and Certifications; and

L1:(b) Do not include the following provisions separately in the solicitation,

L0:which are included in DFARS 252.204-7998:

L1:(1) 252.204-7016, Covered Defense Telecommunications Equipment or

L0:Services?Representation.

L1:(2) 252.209-7002, Disclosure of Ownership or Control by a Foreign

L0:Government.

L1:(3) 252.216-7008, Economic Price Adjustment?Wage Rates or Material

L0:Prices Controlled by a Foreign Government?Representation.

L1:(4) 252.225-7000, Buy American?Balance of Payments Program
 L0:Certificate.

L1:(5) 252.225-7020, Trade Agreements Certificate.

L1:(6) 252.225-7031, Secondary Arab Boycott of Israel.

L1:(7) 252.225-7035, Buy American?Free Trade Agreements?Balance of
 L0:Payments Program Certificate.

L1:(8) 252.225-7042, Authorization to Perform.

L1:(9) 252.225-7049, Prohibition on Acquisition of Certain Foreign
 L0:Commercial Satellite Services?Representations.

L1:(10) 252.225-7050, Disclosure of Ownership or Control by the
 L0:Government of a Country that is a State Sponsor of Terrorism.

L1:(11) 252.226-7002, Representation for Demonstration Project for
 L0:Contractors Employing Persons with Disabilities.

L1:(12) 252.229-7012, Tax Exemptions (Italy)?Representation.

L1:(13) 252.229-7013, Tax Exemptions (Spain)?Representation.
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
 L0:Defense FAR Supplement (DFARS) Part 204

L1:(14) 252.232-7015, Performance-Based Payments?Representation.

204.208-71 Additional contract clauses

Status: active

L0:204.208-71 Additional contract clauses.

L1:(a) Insert the basic or the alternate of the clause at 252.204-7023, Reporting
 L0:Requirements for Contracted Services, in solicitations, contracts, agreements, and
 L0:orders, including solicitations and contracts using FAR part 12 procedures for the
 L0:acquisition of commercial products and commercial services, that?

L1:(1) Have a total estimated value, including options, that exceeds \$3 million;
 L0:and

L1:(2) Are for services in the following service acquisition portfolio groups:

L1:(i) Logistics management services.

L1:(ii) Equipment-related services.

L1:(iii) Knowledge-based services.

L1:(iv) Electronics and communications services.

L1:(b) Insert the basic clause in solicitations and contracts, except solicitations
 L0:and resultant awards of indefinite-delivery contracts, and orders placed under non-
 L0:DoD contracts that meet the criteria in paragraph (a)(1) of this section.

L1:(c) Insert the alternate I clause in solicitations and resultant awards of
 L0:indefinite-delivery contracts, basic ordering agreements, and blanket purchase
 L0:agreements, when one or more of the orders under the contract or agreement are
 L0:expected to meet the criteria in paragraph (a)(1) of this section.

204.270 Electronic Data Access

Status: active

L0:204.270 Electronic Data Access.

L0:See PGI 204.270 for information on the policies and procedures for the Electronic

L0:Data Access (EDA) system.

204.271 Contract distribution

Status: active

L0:204.271 Contract distribution.

L0:Contracting officers must distribute one signed copy or reproduction of the signed

L0:contract to the contractor, payment office, and all other entities on the contract

L0:distribution list. See PGI 204.271 for guidance on the distribution of contracts and

L0:modifications.

204.301 Contract Reporting

Status: active

L0:204.301 Contract Reporting

L0:In addition to FAR 4.301, see PGI 204.301 for contract reporting policy and follow

L0:the procedures at PGI 204.301-71 for reporting data to the Federal Procurement

L0:Data System (FPDS).

204.301-70 General

Status: active

L0:204.301-70 General.

L0:See PGI 204.301-70 for additional information on FPDS and procedures for

L0:resolving technical or policy issues relating to FPDS.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

204.301-71 Responsibilities

Status: active

L0:204.301-71 Responsibilities.

L0:In addition to the requirements at FAR 4.301(f)?

L1:(a) The process for reporting contract actions to FPDS should, where possible, be

L0:automated by incorporating it into contract writing systems.

L1:(b) Data in FPDS is stored indefinitely and is electronically retrievable.

L0:Therefore, the contracting officer may reference the contract action report (CAR)

L0:approval date in the associated Government contract file instead of including a

L0:paper copy of the electronically submitted CAR in the file. Such reference satisfies

L0:contract file documentation requirements of FAR 4.101.
L1:(c) By December 15th of each year, the chief acquisition officer of each DoD
L0:component required to report its contract actions must submit to the Principal
L0:Director, Defense Pricing, Contracting, and Acquisition Policy, its annual
L0:certification and data validation results for the preceding fiscal year in accordance
L0:with the DoD Data Improvement Plan requirements at
L0:<https://www.acq.osd.mil/asda/dpc/ce/cap/index.html>. The Principal Director,
L0:Defense Pricing, Contracting, and Acquisition Policy, will submit a consolidated
L0:DoD annual certification to the Office of Management and Budget by January 5th of
L0:each year.

204.301-72 Reporting data

Status: active

L0:204.301-72 Reporting data.
L0:In addition to FAR 4.301, follow the procedures at PGI 204.301-72 for reporting
L0:data to FPDS.

204.303 Service contracts inventory

Status: active

L0:204.303 Service contracts inventory.

204.303-70 DoD reporting thresholds

Status: active

L0:204.303-70 DoD reporting thresholds.
L1:(a) Requirement. This section prescribes the requirement to report certain
L0:contracted services in accordance with 10 U.S.C. 4505.
L1:(b) Reporting requirements thresholds. Service contractor reporting of
L0:information is required in the System for Award Management (SAM) when a
L0:contract or order?
L1:(1) Has a total estimated value, including options, that exceeds \$3 million;
L0:and
L1:(2) Is for services in the following service acquisition portfolio groups (see
L0:PGI 204.303-70(b)(2)) for a list of applicable product and service codes):
L1:(i) Logistics management services.
L1:(ii) Equipment-related services.
L1:(iii) Knowledge-based services.
L1:(iv) Electronics and communications services.

204.303-71 Contractor reporting

Status: active

L0:204.303-71 Contractor reporting.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(a) The basic and the alternate of the clause at 252.204-7023, Reporting

L0:Requirements for Contracted Services, require contractors to report annually, by

L0:October 31, on the services performed under the contract or order, including any

L0:first-tier subcontracts, during the preceding Government fiscal year.

L1:(b) For indefinite-delivery contracts, basic ordering agreements, and blanket

L0:purchase agreements?

L1:(1) Contractor reporting is required for each order issued under the contract

L0:or agreement that meets the requirements of paragraph (b) of this section; and

L1:(2) Service contract reporting is not required for the basic contract or

L0:agreement.

204.304 System For Award Management

Status: active

L0:204.304 System For Award Management.

204.304-70 Procedures

Status: active

L0:204.304-70 Procedures.

L0:See PGI 204.304-70 for information on navigation and data entry in the System for

L0:Award Management (SAM) database.

L1:(a) On contract award documents, use the contractor's legal or ?doing business

L0:as? name and physical address information as recorded in the SAM database at the

L0:time of award.

L1:(b) When making a determination to exercise an option, or at any other time

L0:before issuing a modification other than a unilateral modification making an

L0:administrative change, ensure that?

L1:(1) The contractor's record is active in the SAM database; and

L1:(2) The contractor's unique entity identifier (UEI) number, Commercial and

L0:Government Entity (CAGE) code, name, and physical address are accurately

L0:reflected in the contract document.

L1:(c) At any time, if the UEI number, CAGE code, contractor name, or physical

L0:address on a contract no longer matches the information on the contractor's record

L0:in the SAM database, the contracting officer must process a novation or change-of-

L0:name agreement, or an address change, as appropriate.

L1:(d) See PGI 204.304-70 for additional requirements relating to use of

L0:information in the SAM database.

L1:(e) On contractual documents transmitted to the payment office, provide the

L0:CAGE code, instead of the UEI, in accordance with agency procedures.

204.308 Contract closeout

Status: active

L0:204.308 Contract closeout.

204.308-170 Procedures for closing out contract files

Status: active

L0:204.308-170 Procedures for closing out contract files.

L1:(a) Except as provided in paragraph (c) of this section, contracting officers must

L0:close out contracts in accordance with the procedures at PGI 204.308-170. The

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:closeout date for file purposes must be determined and documented by the

L0:procuring contracting officer.

L1:(b) The head of the contracting activity must assign the highest priority to

L0:closeout of contracts awarded for performance in a contingency area. Heads of

L0:contracting activities must monitor and assess on a regular basis the progress of

L0:contingency contract closeout activities and take appropriate steps if a backlog

L0:occurs. For guidance on the planning and execution of closing out such contracts,

L0:see PGI 207.104-70(b)(2)(vii)(B).

L2:(c)(1) In accordance with section 836 of the National Defense Authorization Act

L0:for Fiscal Year 2017 (Pub. L. 114-328), contracting officers may close out contracts

L0:or groups of contracts through issuance of one or more modifications to such

L0:contracts without completing a reconciliation audit or other corrective action in

L0:accordance with FAR 4.308-1(a)(3) through (15), as appropriate, if each contract?

L2:(i)(A) For military construction (as defined at 10 U.S.C. 2801) or

L0:shipbuilding, was awarded at least 10 fiscal years before the current fiscal year;

L0:the current fiscal year;

L1:(B) For all other contracts, was awarded at least 7 fiscal years before

L1:(ii) The performance or delivery was completed at least 4 years prior to

L0:the current fiscal year; and

L1:(iii) Has been determined by a contracting official, at least one level

L0:above the contracting officer, to be not otherwise reconcilable, because?

L0:lost; or

L1:(A) The contract or related payment records have been destroyed or

L1:(B) Although contract or related payment records are available, the

L0:time or effort required to establish the exact amount owed to the U.S. Government

L0:or amount owed to the contractor is disproportionate to the amount at issue.

L1:(2) Any contract or group of contracts meeting the requirements of

L0:paragraph (c)(1) of this section may be closed out through a negotiated settlement

L0:with the contractor. Except as provided in paragraph (3)(ii)(B) of this section, the

L0:contract closeout process must include a bilateral modification of the affected
L0:contract, including those contracts that are closed out in accordance with a
L0:negotiated settlement.

L1:(i) For a contract or groups of contracts, the contracting officer must
L0:prepare a negotiation settlement memorandum that describes how the
L0:requirements of paragraph (c)(1) of this section have been met.

L1:(ii) For a group of contracts, a bilateral modification of at least one
L0:contract must be made to reflect the negotiated settlement for a group of contracts,
L0:and unilateral modifications may be made, as appropriate, to other contracts in the
L0:group to reflect the negotiated settlement.

L1:(3) For contract closeout actions under paragraph (c) of this section,
L0:remaining contract balances?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
L0:Defense FAR Supplement (DFARS) Part 204

L1:(i) May be offset with balances in other contract line items within the
L0:same contract, regardless of the year or type of appropriation obligated to fund each
L0:contract line item and regardless of whether the appropriation obligated to fund
L0:such contract line item has closed; and

L1:(ii) May be offset with balances on other contracts, regardless of the year
L0:or type of appropriations obligated to fund each contract and regardless of whether
L0:such appropriations have closed.

L1:(4) USD(A&S) is authorized to waive any provision of acquisition law or
L0:regulation in order to carry out the closeout procedures authorized in paragraph
L2:(c)(1) of this section (see procedures at PGI 204.308-170(c)(iv)).

L1:(d) When using the clause at 252.204-7022, Expediting Contract Closeout, to
L0:expedite contract closeout, determine the residual dollar amount upon completion of
L0:all applicable closeout requirements of FAR 4.308.

204.308-171 Procedures for closing out contract files?Governmentwide

Status: active

L0:204.308-171 Procedures for closing out contract files?Governmentwide
L0:commercial purchase card as the sole payment.
L0:Follow the procedures at PGI 204.308-171 to close out contract files when the
L0:Governmentwide commercial purchase card is the sole method of payment.

204.308-2 Contract closeout by the office administering the contract

Status: active

L0:204.308-2 Contract closeout by the office administering the contract.
L0:See PGI 204.308-2 for information on contract closeout by the office administering
L0:the contract.

204.308-270 Closeout of the contracting office files if another office

Status: active

L0:204.308-270 Closeout of the contracting office files if another office

L0:administers the contract.

L0:See PGI 204.308-270 when another office, other than the contracting office

L0:administers the contract.

204.308-70 Contract clause

Status: active

L0:204.308-70 Contract clause.

L0:Insert the clause at 252.204-7022, Expediting Contract Closeout, in solicitations

L0:and contracts, including solicitations and contracts using FAR part 12 procedures

L0:for the acquisition of commercial products and commercial services, when the

L0:contracting officer intends to expedite contract closeout through the mutual waiver

L0:of entitlement to a residual dollar amount of \$1,000 or less determined at the time

L0:of contract closeout.

204.309 Storage, handling, and contract files

Status: active

L0:204.309 Storage, handling, and contract files.

204.309-70 Handling of contract files

Status: active

L0:204.309-70 Handling of contract files.

L0:Any document posted to the Electronic Data Access (EDA) system is part of the

L0:contract file and is accessible by multiple parties, including the contractor. Do not

L0:include in EDA contract documents that are classified, too sensitive for widespread

L0:distribution (e.g., personally identifiable information and Privacy Act and Health

L0:Insurance Portability and Accountability Act), or attachments that cannot be

L0:practicably converted to electronic format (e.g., samples, drawings, and models).

L0:Inclusion of any document in EDA other than contracts, modifications, and orders is

L0:optional.

204.705-70 Specific retention periods

Status: active

L0:204.705-70 Specific retention periods.

L1:(a) The sources of the period for which contract files must be retained are

L0:General Records Schedule 3 (Procurement, Supply, and Grant Records) and General

L0:Records Schedule 6 (Accountable Officers' Accounts Records). Copies of the General L0:Records Schedule may be obtained from the National Archives and Records L0:Administration, Washington, DC 20408.

L1:(b) Deviations from the periods cannot be granted by the Defense Acquisition

L0:Regulatory Council. Forward requests for deviations to both the Government

L0:Accountability Office and the National Archives and Records Administration.

L1:(c) Hold completed contract files in the office responsible for maintaining them

L0:for a period of 12 months after completion. After the initial 12-month period, send

L0:the records to the local records holding or staging area until they are eligible for

L0:destruction. If no space is available locally, transfer the files to the General

L0:Services Administration Federal Records Center that services the area.

L1:(d) Duplicate or working contract files should not contain originals of materials

L0:that properly belong in the official files. Destroy working files as soon as

L0:practicable once they are no longer needed.

L1:(e) Retain pricing review files, containing documents related to reviews of the

L0:contractor's price proposals, subject to certified cost or pricing data (see FAR 15.403-

L0:4), for six years. If it is impossible to determine the final payment date in order to

L0:measure the six-year period, retain the files for nine years.

204.7200 Scope of subpart

Status: active

L0:204.7200 Scope of subpart.

L0:This subpart provides policy and guidance related to antiterrorism awareness

L0:training for contractor personnel who require routine physical access to a Federally-

L0:controlled facility or military installation.

204.7201 Definition

Status: active

L0:204.7201 Definition.

L0:As used in this subpart?

L0:?"Military installation?" means a base, camp, post, station, yard, center, or other

L0:activity under the jurisdiction of the Secretary of a military department or, in the

L0:case of an activity in a foreign country, under the operational control of the

L0:Secretary of a military department or the Secretary of Defense (see 10 U.S.C.

L0:2801(c)(4)).

204.7202 Policy

Status: active

L0:204.7202 Policy.

L0:It is DoD policy that?

L1:(a) Contractor personnel who, as a condition of contract performance, require
L0:routinely physical access to a Federally-controlled facility or military installation are
L0:required to complete Level I antiterrorism awareness training within 30 days of
L0:requiring access and annually thereafter; and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
L0:Defense FAR Supplement (DFARS) Part 204
L1:(b) In accordance with Department of Defense Instruction O-2000.16, Volume 1,
L0:DoD Antiterrorism (AT) Program Implementation: DoD AT Standards, Level I
L0:antiterrorism awareness training may be completed?
L1:(1) Through a DoD-sponsored and certified computer or web-based distance
L0:learning instruction for Level I antiterrorism awareness; or
L1:(2) Under the instruction of a qualified Level I antiterrorism awareness
L0:instructor.

204.7203 Contract clause

Status: active

L0:204.7203 Contract clause.
L0:Insert the clause at 252.204-7004, DoD Antiterrorism Awareness Training for
L0:Contractors, in solicitations and contracts, including solicitations and contracts
L0:using FAR part 12 procedures for the acquisition of commercial products and
L0:commercial services, when contractor personnel require routine physical access to a
L0:Federally-controlled facility or military installation.

204.7400 Scope of subpart

Status: active

L0:204.7400 Scope of subpart.
L0:This subpart prescribes policies and procedures for the release and safeguarding of
L0:information to litigation support contractors. It implements the requirements at 10
L0:U.S.C. 129d.

204.7401 Definitions

Status: active

L0:204.7401 Definitions.
L0:As used in this subpart?
L0:Computer software? means computer programs, source code, source code
L0:listings, object code listings, design details, algorithms, processes, flow charts,
L0:formulae, and related material that would enable the software to be reproduced,
L0:recreated, or recompiled. Computer software does not include computer data bases
L0:or computer software documentation.
L0:Litigation information? means any information, including sensitive information,

L0:that is furnished to the contractor by or on behalf of the Government, or that is
L0:generated or obtained by the contractor in the performance of litigation support
L0:under a contract. The term does not include information that is lawfully, publicly
L0:available without restriction, including information contained in a publicly
L0:available solicitation.

L0:?Litigation support? means administrative, technical, or professional services
L0:provided in support of the Government during or in anticipation of litigation.

L0:?Litigation support contractor? means a contractor (including its experts,
L0:technical consultants, subcontractors, and suppliers) providing litigation support
L0:under a contract that contains the clause at 252.204-7014, Limitations on the Use
L0:or Disclosure of Information by Litigation Support Contractors.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
L0:Defense FAR Supplement (DFARS) Part 204

L0:?Sensitive information? means controlled unclassified information of a
L0:commercial, financial, proprietary, or privileged nature. The term includes
L0:technical data and computer software, but does not include information that is
L0:lawfully, publicly available without restriction.

L0:?Technical data? means recorded information, regardless of the form or method
L0:of the recording, of a scientific or technical nature (including computer software
L0:documentation). The term does not include computer software or data incidental to
L0:contract administration, such as financial and/or management information.

204.7402 Policy

Status: active

L0:204.7402 Policy.

L1:(a) Any release or disclosure of litigation information that includes sensitive
L0:information to a litigation support contractor, and the litigation support contractor's
L0:use and handling of such information, must comply with the requirements of 10
L0:U.S.C. 129d.

L1:(b) To the maximum extent practicable, DoD will provide notice to an offeror or
L0:contractor submitting, delivering, or otherwise providing information to DoD in
L0:connection with an offer or performance of a contract that such information may be
L0:released or disclosed to litigation support contractors.

L1:(c) Information that is publicly available without restriction, including publicly
L0:available solicitations for litigation support services, will not be protected from
L0:disclosure as litigation information.

L1:(d) When sharing sensitive information with a litigation support contractor,
L0:contracting officers must ensure that all other applicable requirements for handling
L0:and safeguarding the relevant types of sensitive information are included in the
L0:contract (e.g., FAR part 40 and subpart 24.1; DFARS part 240 and subpart 224.1).

204.7403 Contract clauses

Status: active

L0:204.7403 Contract clauses.

L1:(a) Insert the clause at 252.204-7014, Limitations on the Use or Disclosure of

L0:Information by Litigation Support Contractors, in all solicitations and contracts

L0:that involve litigation support services, including solicitations and contracts using

L0:FAR part 12 procedures for the acquisition of commercial products and commercial

L0:services.

L1:(b) Insert the clause at 252.204-7015, Notice of Authorized Disclosure of

L0:Information for Litigation Support, in solicitations and contracts that involve

L0:litigation support services, including solicitations and contracts using FAR part 12

L0:procedures for the acquisition of commercial products and commercial services.

204.7600 Scope of subpart

Status: active

L0:204.7600 Scope of subpart.

L0:This subpart provides policies and procedures for use of the Supplier Performance

L0:Risk System (SPRS) risk assessments in the evaluation of a quotation or offer.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

204.7601 Definitions

Status: active

L0:204.7601 Definitions.

L0:As used in this subpart?

L0:Item risk? means the probability that a product, based on intended use, will

L0:introduce performance risk resulting in safety issues, mission degradation, or

L0:monetary loss.

L0:Price risk? means the measure of whether a proposed price for a product or

L0:service is consistent with historical prices paid for that item or service.

L0:Supplier risk? means the probability that an award may subject the

L0:procurement to the risk of unsuccessful performance or to supply chain risk.

204.7602 Applicability

Status: active

L0:204.7602 Applicability.

L0:Use of SPRS risk assessments is required for the evaluation of quotations or offers

L0:in response to solicitations for supplies and services, including solicitations using

L0:FAR part 12 procedures for the acquisition of commercial products and commercial

L0:services, excluding solicitations for the procurement of supplies or services

L0:exempted by the Department of Defense Instruction (DoDI) 5000.79, Defense-wide

L0:Sharing and Use of Supplier and Product Performance Information. SPRS retrieves
L0:item, price, quality, delivery, and contractor information from contracts in
L0:Government reporting systems in order to develop risk assessments of contractors.
L0:SPRS is available at <https://piee.eb.mil/>, and the SPRS user's guides are available
L0:at <https://www.sprs.csd.disa.mil/reference.htm>.

204.7603 Procedures

Status: active

L0:204.7603 Procedures.

L0:The contracting officer must consider price risk and supplier risk, if available in
L0:SPRS, as a part of the award decision. For procurement of an end product
L0:identified by a material identifier that is available as described at PGI 204.7603,
L0:the contracting officer must also consider assessments of item risk, if available, as a
L0:part of the award decision. Offerors or quoters without a risk assessment in SPRS
L0:must not be considered favorably or unfavorably. Contracting officers must use
L0:their discretion in considering the information available in SPRS on item risk, price
L0:risk, and supplier risk as follows:

L1:(a) Item risk.

L1:(1) Consider item risk to determine whether the procurement of products
L0:represents a high performance risk to the Government. If an item has a high risk
L0:rating, then the SPRS item risk report will display the reason(s) an item is
L0:identified as high risk.

L1:(2) Before issuing a solicitation for the procurement of an end product
L0:identified by a material identifier that is available as described at PGI 204.7603,
L0:the contracting officer must ensure a SPRS item risk search has been performed
L0:and must consider any item risk warnings provided. When evaluating quotations or
L0:offers for an end product identified by a material identifier, a SPRS item risk search
L0:is required for any end product that did not have an item risk search performed
L0:prior to solicitation. If there are item risk warnings, the contracting officer must
L0:consider strategies to mitigate risk, such as the following:

L1:(i) Consulting with the program office.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
L0:Defense FAR Supplement (DFARS) Part 204

L1:(ii) Including mitigating requirements in the statement of work, as
L0:provided by the requiring activity.

L1:(iii) Including FAR and DFARS clauses identified in the SPRS
L0:application, as appropriate.

L1:(b) Price risk.

L1:(1) When procuring a service or an end product identified by a material
L0:identifier that is available as described at PGI 204.7603, the contracting officer
L0:must consider price risk assessment in determining if a proposed price is consistent
L0:with historical prices paid for an item or otherwise creates a risk to the
L0:Government. Contracting officers must not rely solely on the price risk assessment

L0:when determining prices to be fair and reasonable.

L1:(2) The contracting officer must consider strategies to mitigate price risk,

L0:such as the following:

L1:(i) Not awarding to offerors or quoters with high risk price ratings unless

L0:there is a way to justify the price through additional price or cost analysis.

L1:(ii) Utilizing appropriate price negotiation techniques and procedures.

L1:(iii) Using price reasonableness or price realism techniques at FAR

13.203 or 15.4. See also 215.403-3 when making award decisions

Status: active

L0:13.203 or 15.4. See also 215.403-3 when making award decisions.

L1:(c) Supplier risk. The contracting officer must consider supplier risk, to assess

L0:the risk of unsuccessful performance and supply chain risk, in award decisions.

L0:Supplier risk assessments in SPRS include quality, delivery, and other contractor

L0:performance information.

204.7604 Solicitation provision

Status: active

L0:204.7604 Solicitation provision.

L0:Except for supplies or services exempted by DoDI 5000.79, insert the provision at

L0:252.204-7024, Notice on the Use of the Supplier Performance Risk System, in

L0:solicitations for supplies and services, including solicitations using FAR part 12

L0:procedures for the acquisition of commercial products and commercial services.

204.770 U.S.-International Atomic Energy Agency Additional Protocol

Status: active

L0:204.770 U.S.-International Atomic Energy Agency Additional Protocol.

204.770-1 General

Status: active

L0:204.770-1 General.

L0:Under the U.S.-International Atomic Energy Agency Additional Protocol (U.S.-

L0:IAEA AP), the United States is required to declare a wide range of public and

L0:private nuclear-related activities to the IAEA and potentially provide access to

L0:IAEA inspectors for verification purposes.

204.770-2 National security exclusion

Status: active

L0:204.770-2 National security exclusion.

L1:(a) The U.S.-IAEA AP permits the United States unilaterally to declare

L0:exclusions from inspection requirements for activities, or locations or information

L0:associated with such activities, with direct national security significance.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(b) In order to ensure that all relevant activities are reviewed for direct national

L0:security significance, both current and former activities, and associated locations or

L0:information, are to be considered for applicability for a national security exclusion.

L1:(c) If a DoD program manager receives notification from a contractor that the

L0:contractor is required to report any of its activities in accordance with the U.S.-

L0:IAEA AP, the program manager will?

L1:(1) Conduct a security assessment to determine if, and by what means,

L0:access may be granted to the IAEA; or

L1:(2) Provide written justification to the component or agency treaty office for

L0:application of the national security exclusion at that location to exclude access by

L0:the IAEA, in accordance with DoD Instruction 2060.03, Application of the National

L0:Security Exclusion to the Agreements Between the United States of America and

L0:the International Atomic Energy Agency for the Application of Safeguards in the

L0:United States of America.

204.770-3 Contract clause

Status: active

L0:204.770-3 Contract clause.

L0:Insert the clause at 252.204-7010, Requirement for Contractor to Notify DoD if the

L0:Contractor's Activities are Subject to Reporting Under the U.S.-International

L0:Atomic Energy Agency Additional Protocol, in solicitations and contracts for

L0:research and development or major defense acquisition programs involving?

L1:(a) Any fissionable materials (e.g., uranium, plutonium, neptunium, thorium,

L0:americium);

L1:(b) Other radiological source materials; or

L1:(c) Technologies directly related to nuclear power production, including nuclear

L0:or radiological waste materials.

252.204-7002 Payment for Contract Line or Subline Items Not Separately

Status: active

L0:252.204-7002 Payment for Contract Line or Subline Items Not Separately

L0:Priced.

L0:As prescribed in 204.202-79(a), Insert the following clause:

L0:Payment for Contract Line or Subline Items Not Separately Priced (APR 2020)

L1:(a) If the schedule in this contract contains any contract line or subline items
L0:identified as not separately priced (NSP), it means that the unit price for the NSP
L0:line or subline item is included in the unit price of another, related line or subline
L0:item.
L1:(b) The Contractor shall not invoice the Government for an item that includes in
L0:its price an NSP item until?
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
L0:Defense FAR Supplement (DFARS) Part 204
L1:(1) The Contractor has also delivered the NSP item included in the price of
L0:the item being invoiced; and
L1:(2) The Government has accepted the NSP item.
L1:(c) This clause does not apply to technical data.
L0:(End of clause)

252.204-7004 Antiterrorism Awareness Training for Contractors

Status: active

L0:252.204-7004 Antiterrorism Awareness Training for Contractors.
L0:As prescribed in 204.7203, insert the following clause:
L0:Antiterrorism Awareness Training for Contractors (JAN 2023)
L1:(a) Definition. As used in this clause?
L0:Military installation means a base, camp, post, station, yard, center, or other
L0:activity under the jurisdiction of the Secretary of a military department or, in the
L0:case of an activity in a foreign country, under the operational control of the
L0:Secretary of a military department or the Secretary of Defense (see 10 U.S.C.
L0:2801(c)(4)).
L1:(b) Training. Contractor personnel who require routine physical access to a
L0:Federally-controlled facility or military installation shall complete Level I
L0:antiterrorism awareness training within 30 days of requiring access and annually
L0:thereafter. In accordance with Department of Defense Instruction O-2000.16
L0:Volume 1, DoD Antiterrorism (AT) Program Implementation: DoD AT Standards,
L0:Level I antiterrorism awareness training shall be completed?
L1:(1) Through a DoD-sponsored and certified computer or web-based distance
L0:learning instruction for Level I antiterrorism awareness; or
L1:(2) Under the instruction of a Level I antiterrorism awareness instructor.
L1:(c) Additional information. Information and guidance pertaining to DoD
L0:antiterrorism awareness training is available at <https://jko.jten.mil/> or as
L0:otherwise identified in the performance work statement.
L1:(d) Subcontracts. The Contractor shall include the substance of this clause,
L0:including this paragraph (d), in subcontracts, including subcontracts for commercial
L0:products and commercial services, when subcontractor performance requires
L0:routine physical access to a Federally-controlled facility or military installation.
L0:(End of clause)

252.204-7006 Billing Instructions?Cost Vouchers

Status: active

L0:252.204-7006 Billing Instructions?Cost Vouchers.
 L0:As prescribed in 204.202-79(b), insert the following clause:
 L0:Billing Instructions?Cost Vouchers (MAY 2023)
 L0:When submitting a request for payment using a cost voucher, the Contractor
 L0:shall?
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
 L0:Defense FAR Supplement (DFARS) Part 204
 L1:(a) Identify the contract line item(s) on the payment request that reasonably
 L0:reflect contract work performance; and
 L1:(b) Separately identify a payment amount for each contract line item included in
 L0:the payment request.
 L0:(End of clause)

252.204-7998 Alternate A, Annual Representations and Certifications

Status: active

L0:252.204-7998 Alternate A, Annual Representations and Certifications.
 L0:As prescribed in 204.208(b), insert the following provision:
L0:ALTERNATE A, ANNUAL REPRESENTATIONS AND CERTIFICATIONS
L0:(DEVIATION 2026-O0043)(FEB 2026)
 L0:Include the following paragraphs (e), (f), and (g) in the provision at FAR 52.204-7:
 L2:(e)(1) If the provision at FAR 52.204-7, System for Award Management -
 L0:Registration, is included in this solicitation, paragraph (g) of this provision applies.
 L1:(2) If the provision at FAR 52.204-7, System for Award Management -
 L0:Registration, is not included in this solicitation, and the Offeror has an active
 L0:registration in the System for Award Management (SAM), the Offeror may choose
 L0:to use paragraph (g) of this provision instead of completing the corresponding
 L0:individual representations and certifications in the solicitation. The Offeror shall
 L0:indicate which option applies by checking one of the following boxes:
 L0:____ (i) Paragraph (g) applies.
 L0:____ (ii) Paragraph (g) does not apply and the Offeror has completed the
 L0:individual representations and certifications in the solicitation.
 L2:(f)(1) The following representations or certifications in the SAM database are
 L0:applicable to this solicitation as indicated:
 L1:(i) 252.204-7016, Covered Defense Telecommunications Equipment or
 L0:Services?Representation. Applies to all solicitations.
 L1:(ii) 252.216-7008, Economic Price Adjustment?Wage Rates or Material
 L0:Prices Controlled by a Foreign Government. Applies to solicitations for fixed-price
 L0:supply and service contracts when the contract is to be performed wholly or in part
 L0:in a foreign country, and a foreign government controls wage rates or material
 L0:prices and may during contract performance impose a mandatory change in wages

L0:or prices of materials.

L1:(iii) 252.225-7042, Authorization to Perform. Applies to all solicitations

L0:when performance will be wholly or in part in a foreign country.

L1:(iv) 252.225-7049, Prohibition on Acquisition of Certain Foreign

L0:Commercial Satellite Services?Representations. Applies to solicitations for the

L0:acquisition of commercial satellite services.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(v) 252.225-7050, Disclosure of Ownership or Control by the Government

L0:of a Country that is a State Sponsor of Terrorism. Applies to all solicitations

L0:expected to result in contracts of \$150,000 or more.

L1:(vi) 252.229-7012, Tax Exemptions (Italy)?Representation. Applies to

L0:solicitations when contract performance will be in Italy.

L1:(vii) 252.229-7013, Tax Exemptions (Spain)?Representation. Applies to

L0:solicitations when contract performance will be in Spain.

L1:(2) The following representations or certifications in SAM are applicable to

L0:this solicitation as indicated by the Contracting Officer: [Contracting Officer check

L0:as appropriate.]

L0:____(i) 252.209-7002, Disclosure of Ownership or Control by a Foreign

L0:Government.

L0:____(ii) 252.225-7000, Buy American?Balance of Payments Program

L0:Certificate.

L0:____(iii) 252.225-7020, Trade Agreements Certificate.

L0:____Use with Alternate I.

L0:____(iv) 252.225-7031, Secondary Arab Boycott of Israel.

L0:____(v) 252.225-7035, Buy American?Free Trade Agreements?Balance

L0:of Payments Program Certificate.

L0:____Use with Alternate I.

L0:____Use with Alternate II.

L0:____Use with Alternate III.

L0:____Use with Alternate IV.

L0:____Use with Alternate V.

L0:____(vi) 252.226-7002, Representation for Demonstration Project for

L0:Contractors Employing Persons with Disabilities.

L0:____(vii) 252.232-7015, Performance-Based Payments?Representation.

L1:(g) The Offeror has completed the annual representations and certifications

L0:electronically via the SAM website at <https://www.sam.gov> After reviewing the

L0:SAM database information, the Offeror verifies by submission of the offer that the

L0:representations and certifications currently posted electronically that apply to this

L0:solicitation as indicated in FAR 52.204-7 and paragraph (f) of this provision have

L0:been entered or updated within the last 12 months, are current, accurate, complete,

L0:and applicable to this solicitation (including the business size standard applicable to

L0:the NAICS code referenced for this solicitation), as of the date of this offer, and are

L0:incorporated in this offer by reference (see FAR 4.203-1); except for the changes

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:identified below [Offeror to insert changes, identifying change by provision number, L0:title, date]. These amended representation(s) and/or certification(s) are also L0:incorporated in this offer and are current, accurate, and complete as of the date of L0:this offer.

L0:FAR/DFARS provision No.

L0>Title

L0:Date

L0:Change

L0:Any changes provided by the Offeror are applicable to this solicitation only, and do

L0:not result in an update to the representations and certifications located in the SAM

L0:database.

L0:(End of provision)

252.204-7010 Requirement for Contractor to Notify DoD if the Contractor's

Status: active

L0:252.204-7010 Requirement for Contractor to Notify DoD if the Contractor's

L0:Activities are Subject to Reporting Under the U.S.-International Atomic

L0:Energy Agency Additional Protocol.

L0:As prescribed in 204.770-3, insert the following clause:

L0:Requirement for Contractor to Notify DoD if the Contractor's Activities Are Subject

L0:to Reporting Under the U.S.-International Atomic Energy Agency Additional

L0:Protocol (JAN 2009)

L1:(a) If the Contractor is required to report any of its activities in accordance with

L0:Department of Commerce regulations (15 CFR part 781 et seq.) or Nuclear

L0:Regulatory Commission regulations (10 CFR part 75) in order to implement the

L0:declarations required by the U.S.-International Atomic Energy Agency Additional

L0:Protocol (U.S.-IAEA AP), the Contractor shall?

L1:(1) Immediately provide written notification to the following DoD Program

L0:Manager:

L0:[Contracting Officer to insert Program Manager's name, mailing address, e-mail

L0:address, telephone number, and facsimile number];

L1:(2) Include in the notification?

L1:(i) Where DoD contract activities or information are located relative to

L0:the activities or information to be declared to the Department of Commerce or the

L0:Nuclear Regulatory Commission; and

L1:(ii) If or when any current or former DoD contract activities and the

L0:activities to be declared to the Department of Commerce or the Nuclear Regulatory

L0:Commission have been or will be co-located or located near enough to one another to

L0:result in disclosure of the DoD activities during an IAEA inspection or visit; and

L1:(3) Provide a copy of the notification to the Contracting Officer.

L1:(b) After receipt of a notification submitted in accordance with paragraph (a) of

L0:this clause, the DoD Program Manager will?

L1:(1) Conduct a security assessment to determine if and by what means access

L0:may be granted to the IAEA; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(2) Provide written justification to the component or agency treaty office for

L0:a national security exclusion, in accordance with DoD Instruction 2060.03,

L0:Application of the National Security Exclusion to the Agreements Between the

L0:United States of America and the International Atomic Energy Agency for the

L0:Application of Safeguards in the United States of America. DoD will notify the

L0:Contractor if a national security exclusion is applied at the Contractor's location to

L0:prohibit access by the IAEA.

L1:(c) If the DoD Program Manager determines that a security assessment is

L0:required?

L1:(1) DoD will, at a minimum?

L1:(i) Notify the Contractor that DoD officials intend to conduct an

L0:assessment of vulnerabilities to IAEA inspections or visits;

L1:(ii) Notify the Contractor of the time at which the assessment will be

L0:conducted, at least 30 days prior to the assessment;

L1:(iii) Provide the Contractor with advance notice of the credentials of the

L0:DoD officials who will conduct the assessment; and

L1:(iv) To the maximum extent practicable, conduct the assessment in a

L0:manner that does not impede or delay operations at the Contractor's facility; and

L1:(2) The Contractor shall provide access to the site and shall cooperate with

L0:DoD officials in the assessment of vulnerabilities to IAEA inspections or visits.

L1:(d) Following a security assessment of the Contractor's facility, DoD officials will

L0:notify the Contractor as to?

L1:(1) Whether the Contractor's facility has any vulnerabilities where

L0:potentially declarable activities under the U.S.-IAEA AP are taking place;

L1:(2) Whether additional security measures are needed; and

L1:(3) Whether DoD will apply a national security exclusion.

L1:(e) If DoD applies a national security exclusion, the Contractor shall not grant

L0:access to IAEA inspectors.

L1:(f) If DoD does not apply a national security exclusion, the Contractor shall

L0:apply managed access to prevent disclosure of program activities, locations, or

L0:information in the U.S. declaration.

L1:(g) The Contractor shall not delay submission of any reports required by the

L0:Department of Commerce or the Nuclear Regulatory Commission while awaiting a

L0:DoD response to a notification provided in accordance with this clause.

L1:(h) The Contractor shall incorporate the substance of this clause, including this

L0:paragraph (h), in all subcontracts that are subject to the provisions of the U.S.-

L0:IAEA AP.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:(End of clause)

252.204-7014 Limitations on the Use or Disclosure of Information by

Status: active

L0:252.204-7014 Limitations on the Use or Disclosure of Information by

L0:Litigation Support Contractors.

L0:As prescribed in 204.7403(a), insert the following clause:

L0:Limitations on the Use or Disclosure of Information by Litigation Support

L0:Contractors (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Computer software means computer programs, source code, source code listings,

L0:object code listings, design details, algorithms, processes, flow charts, formulae, and

L0:related material that would enable the software to be reproduced, recreated, or

L0:recompiled. Computer software does not include computer data bases or computer

L0:software documentation.

L0:Litigation information means any information, including sensitive information,

L0:that is furnished to the contractor by or on behalf of the Government, or that is

L0:generated or obtained by the contractor in the performance of litigation support

L0:under a contract. The term does not include information that is lawfully, publicly

L0:available without restriction, including information contained in a publicly

L0:available solicitation.

L0:Litigation support means administrative, technical, or professional services

L0:provided in support of the Government during or in anticipation of litigation.

L0:Litigation support contractor means a contractor (including its experts, technical

L0:consultants, subcontractors, and suppliers) providing litigation support under a

L0:contract that contains this clause.

L0:Sensitive information means controlled unclassified information of a commercial,

L0:financial, proprietary, or privileged nature. The term includes technical data and

L0:computer software, but does not include information that is lawfully, publicly

L0:available without restriction.

L0:Technical data means recorded information, regardless of the form or method of

L0:the recording, of a scientific or technical nature (including computer software

L0:documentation). The term does not include computer software or data incidental to

L0:contract administration, such as financial and/or management information.

L1:(b) Limitations on use or disclosure of litigation information. Notwithstanding

L0:any other provision of this contract, the Contractor shall?

L1:(1) Access and use litigation information only for the purpose of providing

L0:litigation support under this contract;

L1:(2) Not disclose litigation information to any entity outside the Contractor's

L0:organization unless, prior to such disclosure the Contracting Officer has provided

L0:written consent to such disclosure;

L1:(3) Take all precautions necessary to prevent unauthorized disclosure of

L0:litigation information;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(4) Not use litigation information to compete against a third party for

L0:Government or nongovernment contracts; and
L1:(5) Upon completion of the authorized litigation support activities, destroy or
L0:return to the Government at the request of the Contracting Officer all litigation
L0:information in its possession.
L1:(c) Violation of paragraph (b)(1),(b)(2), (b)(3), (b)(4), or (b)(5) of this clause is a
L0:basis for the Government to terminate this contract.
L1:(d) Indemnification and creation of third party beneficiary rights. The
L0:Contractor agrees?
L1:(1) To indemnify and hold harmless the Government, its agents, and
L0:employees from any claim or liability, including attorneys' fees, court costs, and
L0:expenses, arising out of, or in any way related to, the misuse or unauthorized
L0:modification, reproduction, release, performance, display, or disclosure of any
L0:litigation information; and
L1:(2) That any third party holding proprietary rights or any other legally
L0:protectable interest in any litigation information, in addition to any other rights it
L0:may have, is a third party beneficiary under this contract who shall have a right of
L0:direct action against the Contractor, and against any person to whom the
L0:Contractor has released or disclosed such litigation information, for any such
L0:unauthorized use or disclosure of such information.
L1:(e) Contractor employees. The Contractor shall ensure that its employees are
L0:subject to use and nondisclosure obligations consistent with this clause prior to the
L0:employees being provided access to or use of any litigation information covered by
L0:this clause.
L1:(f) Subcontracts. Include the substance of this clause, including this paragraph
L1:(f), in all subcontracts, including subcontracts for commercial products or
L0:commercial services.
L0:(End of clause)

252.204-7015 Notice of Authorized Disclosure of Information for Litigation

Status: active

L0:252.204-7015 Notice of Authorized Disclosure of Information for Litigation
L0:Support.
L0:As prescribed in 204.7403(b), insert the following clause:
L0:Notice of Authorized Disclosure of Information for Litigation Support (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:Computer software means computer programs, source code, source code listings,
L0:object code listings, design details, algorithms, processes, flow charts, formulae, and
L0:related material that would enable the software to be reproduced, recreated, or
L0:recompiled. Computer software does not include computer data bases or computer
L0:software documentation.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
L0:Defense FAR Supplement (DFARS) Part 204
L0:Litigation support means administrative, technical, or professional services

L0:provided in support of the Government during or in anticipation of litigation.
L0:Litigation support contractor means a contractor (including its experts, technical
L0:consultants, subcontractors, and suppliers) providing litigation support under a
L0:contract that contains the clause at 252.204-7014, Limitations on the Use or
L0:Disclosure of Information by Litigation Support Contractors.
L0:Sensitive information means controlled unclassified information of a commercial,
L0:financial, proprietary, or privileged nature. The term includes technical data and
L0:computer software, but does not include information that is lawfully, publicly
L0:available without restriction.
L0:Technical data means recorded information, regardless of the form or method of
L0:the recording, of a scientific or technical nature (including computer software
L0:documentation). The term does not include computer software or data incidental to
L0:contract administration, such as financial and/or management information.
L1:(b) Notice of authorized disclosures Notwithstanding any other provision of this
L0:solicitation or contract, the Government may disclose to a litigation support
L0:contractor, for the sole purpose of litigation support activities, any information,
L0:including sensitive information, received?
L1:(1) Within or in connection with a quotation or offer; or
L1:(2) In the performance of or in connection with a contract.
L1:(c) Subcontracts. Include the substance of this clause, including this paragraph
L1:(c), in all subcontracts, including subcontracts for commercial products or
L0:commercial services.
L0:(End of clause)

252.204-7022 Expediting Contract Closeout

Status: active

L0:252.204-7022 Expediting Contract Closeout.
L0:As prescribed in 204.308-70, insert the following clause:
L0:Expediting Contract Closeout
L1:(a) At the conclusion of all applicable closeout requirements of Federal
L0:Acquisition Regulation 4.308, the Government and Contractor shall mutually agree
L0:on the residual dollar amount remaining on the contract. Both the Government and
L0:Contractor agree to waive payment of any residual dollar amount of \$1,000 or less
L0:to which either party may be entitled at the time of contract closeout.
L1:(b) A residual dollar amount includes all money owed to either party at the end
L0:of the contract and as a result of the contract, excluding amounts connected in any
L0:way with taxation or a violation of law or regulation.
L1:(c) For purposes of determining residual dollar amounts, offsets (e.g., across
L0:multiple contracts or orders) may be considered only to the extent permitted by law.
L0:(End of clause)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
L0:Defense FAR Supplement (DFARS) Part 204

252.204-7023 Reporting Requirements for Contracted Services

Status: active

L0:252.204-7023 Reporting Requirements for Contracted Services.

L0:Basic. As prescribed in 204.208-71(a)(1) and (2), insert the following clause:

L0:Reporting Requirements for Contracted Services?Basic (Jul 2021)

L1:(a) Definition. As used in this clause?

L0:First-tier subcontract means a subcontract awarded directly by the contractor for

L0:the purpose of acquiring services for performance of a prime contract. It does not

L0:include the contractor's supplier agreements with vendors, such as long-term

L0:arrangements for materials or supplies or services that benefit multiple contracts

L0:and/or the costs of which are normally applied to a contractor's general and

L0:administrative expenses or indirect costs.

L1:(b) The Contractor shall report annually, by October 31, at

L0:https://www.sam.gov, on the services performed under this contract or order,

L0:including any first-tier subcontracts, during the preceding Government fiscal year

L0:(October 1-September 30).

L1:(c) The Contractor shall report the following information for the contract or

L0:order:

L1:(1) The total dollar amount invoiced for services performed during the

L0:preceding Government fiscal year under the contract or order.

L1:(2) The number of Contractor direct labor hours, to include first-tier

L0:subcontractor direct labor hours, as applicable, expended on the services performed

L0:under the contract or order during the previous Government fiscal year.

L1:(d) The Government will review the Contractor's reported information for

L0:reasonableness and consistency with available contract information. In the event

L0:the Government believes that revisions to the Contractor's reported information are

L0:warranted, the Government will notify the Contractor. Upon notification, the

L0:Contractor shall revise the reported information or provide the Government with a

L0:supporting rationale for the information.

L0:(End of clause)

L0:Alternate I, Reporting Requirements for Contracted Services

L0:As prescribed in 204.208-71(a)(3), use the following clause, which substitutes

L0:?contract or agreement for each order? in lieu of ?contract or order? in paragraph (b)

L0:and ?order? in lieu of ?contract or order? in paragraphs (c) and (c)(1) and (2), and

L0:identifies the dollar threshold and service acquisition portfolio groups for which

L0:orders under the contract or agreement require service contract reporting.

L0:Reporting Requirements for Contracted Services?Alternate I (Jul 2021)

L1:(a) Definition. As used in this clause?

L0:First-tier subcontract means a subcontract awarded directly by the contractor for

L0:the purpose of acquiring services for performance of a prime contract. It does not

L0:include the contractor's supplier agreements with vendors, such as long-term

L0:arrangements for materials or supplies or services that benefit multiple contracts

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:and/or the costs of which are normally applied to a contractor's general and
L0:administrative expenses or indirect costs.

L1:(b) The contractor shall report annually, by October 31, at <https://www.sam.gov>,
L0:on services performed during the preceding Government fiscal year (October 1-
L0:September 30) under this contract or agreement for each order, including any first-
L0:tier subcontract, which exceeds \$3 million for services in the following service
L0:acquisition portfolio groups:

L1:(1) Logistics management services.

L1:(2) Equipment-related services.

L1:(3) Knowledge-based services.

L1:(4) Electronics and communications services.

L1:(c) The Contractor shall report the following information for the order:

L1:(1) The total dollar amount invoiced for services performed during the
L0:preceding Government fiscal year under the order.

L1:(2) The number of Contractor direct labor hours, to include first-tier
L0:subcontractor direct labor hours, as applicable, expended on the services performed
L0:under the order during the previous Government fiscal year.

L1:(d) The Government will review the Contractor's reported information for
L0:reasonableness and consistency with available contract information. In the event
L0:the Government believes that revisions to the Contractor's reported information are
L0:warranted, the Government will notify the Contractor. Upon notification, the
L0:Contractor shall revise the reported information or provide the Government with a
L0:supporting rationale for the information.

L0:(End of clause)

252.204-7024 Notice on the Use of the Supplier Performance Risk System

Status: active

L0:252.204-7024 Notice on the Use of the Supplier Performance Risk System.

L0:As prescribed in 204.7604, insert the following provision:

L0:Notice on the Use of the Supplier Performance Risk System

L1:(a) Definitions. As used in this provision?

L0:Item risk means the probability that a product, based on intended use, will
L0:introduce performance risk resulting in safety issues, mission degradation, or
L0:monetary loss.

L0:Price risk means a measure of whether a proposed price for a product or service
L0:is consistent with historical prices paid for that item or service.

L0:Supplier risk means the probability that an award may subject the procurement
L0:to the risk of unsuccessful performance or to supply chain risk (see Defense Federal
L0:Acquisition Regulation Supplement 240).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(b) The Supplier Performance Risk System (SPRS), available at
L0:<https://piee.eb.mil/>, will be used in the evaluation of the Quoter or Offeror's

L0:performance. SPRS retrieves item, price, quality, delivery, and contractor

L0:information on contracts from Government reporting systems in order to develop

L0:risk assessments.

L1:(c) The Contracting Officer will consider SPRS risk assessments during the

L0:evaluation of quotations or offers received in response to this solicitation as follows:

L1:(1) Item risk will be considered to determine whether the procurement

L0:represents a high performance risk to the Government.

L1:(2) Price risk will be considered in determining if a proposed price is

L0:consistent with historical prices paid for a product or a service or otherwise creates

L0:a risk to the Government.

L1:(3) Supplier risk, including but not limited to quality and delivery, will be

L0:considered to assess the risk of unsuccessful performance and supply chain risk.

L1:(d) SPRS risk assessments are generated daily. Quoters or Offerors are able to

L0:access their risk assessments by following the access instructions in the SPRS

L0:user's guide available at <https://www.sprs.csd.disa.mil/reference.htm>. Quoters and

L0:Offerors are granted access to SPRS for their own risk assessment classifications

L0:only. SPRS reporting procedures and risk assessment methodology are detailed in

L0:the SPRS user's guide. The method to challenge a rating generated by SPRS is also

L0:provided in the user's guide. SPRS evaluation criteria are available at

L0:https://www.sprs.csd.disa.mil/pdf/SPRS_DataEvaluationCriteria.pdf.

L1:(e) The Contracting Officer may consider any other available and relevant

L0:information when evaluating a quotation or an offer.

L0:(End of provision)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:PGI 204?ADMINISTRATIVE AND INFORMATION MATTERS

L0:PGI 204.2?SOLICITATION, EVALUATION, AND AWARD

L0:PGI 204.201 Unique procurement instrument identifiers.

L1:(b) DoD-issued PIIDs are thirteen characters in length. Use only alpha-numeric

L0:characters, as prescribed in FAR 4.201 and this subpart. Do not use the letter I or O in

L0:any part of the PIID.

L1:(1) Position 9.

L1:(i) DoD will use three of the letters reserved for departmental or agency use

L0:in FAR 4.201(b)(3), Table 4-1 in this position as follows:

L0:by the enterprise FedMall system.

L1:(A) Use M to identify purchase orders and task or delivery orders issued

L0:solutions openings.

L1:(B) Use S to identify broad agency announcements and commercial

L1:(C) Use T to identify automated requests for quotations by authorized

L0:legacy contract writing systems. Legacy contract writing systems authorized to use the

L0:letter T in position 9 of the PIID for automated requests for quotation include the

L0:following:

L1:(ITIMP) system.

L1:(1) Department of Navy's Item Management and Procurement

L1:(2) Defense Logistics Agency's Enterprise Business System (EBS).

L1:(ii) Do not use other letters identified in FAR 4.201(b)(3), Table 4-1 as

L0: ?Reserved for future Federal Governmentwide use? or ?Reserved for departmental or

L0:agency use? in position 9 of the PIID.

L1:(iii) Do not use the letter C or H for contracts or agreements with provisions

L0:for orders or calls.

L1:(2) Positions 10 through 17. In accordance with FAR 4.201(b)(4), DoD-issued

L0:PIIDs must only use positions 10 through 13 to complete the PIID. Enter the serial

L0:number of the instrument in these positions. A separate series of serial numbers may

L0:be used for any type of instrument listed in FAR 4.201(b)(3), Table 4-1. DoD

L0:components assign such series of PIID numbers sequentially. A DoD component may

L0:reserve blocks of numbers or alpha-numeric numbers for use by its various activities.

L0:Use C in position 10 to identify the solicitation as a commercial solutions opening.

L2:(c)(1) Positions 2 through 6. In accordance with FAR 4.201(b)(3), DoD-issued

L0:supplementary PIIDs must, for positions 2 through 6 of modifications to contracts and

L0:agreements, comply with the following:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(i) Positions 2 and 3. These two digits may be either alpha or numeric

L0:characters, except?

L0:modification is issued by the Air Force and is a provisioned item order;

L1:(A) Use K, L, M, N, P, and Q only in position 2, and only if the

L0:provide initial or amended shipping instructions when?

L1:(B) Use S only in position 2, and only to identify modifications issued to

L1:(1) The contract has either FOB origin or destination delivery

L0:terms; and

L1:(2) The price changes;

L0:modifications issued to provide initial or amended shipping instructions when?

L1:(C) Use T, U, V, W, X, or Y only in position 2, and only to identify

L1:(1) The contract has FOB origin delivery terms; and

L1:(2) The price does not change; and

L0:defines a letter contract or a previously issued undefinitized modification.

L1:(D) Use Z only in position 2, and only to identify a modification which

L1:(2) Positions 4 through 6. These positions are always numeric. Use a separate

L0:series of serial numbers for each type of modification listed in paragraph (c)(1) of this

L0:section.

L1:(3) Positions 10 through 17. Positions 10 through 13 of a DoD-issued PIID

L0:must not be a sequence of four zeroes (i.e., ?0000?).

L1:(4) The following are elements and examples of proper supplementary PIID

L0:numbering.

L1:(i) Position 1. Use a ?U? in position 1 (e.g., ?U00001?) in lieu of an ?A? or ?P?,

L0:as necessary, to process draft modifications through contract writing systems and

L0:associated applications. Change the ?U? to an ?A? or ?P? prior to award to comply with

L0:FAR and DFARS standards.

L1:(ii) Positions 2 through 6. Examples of proper numbering for positions 2

L0:through 6 are as follows:

L0:Normal modification

L0:Provisioned items order

L0:(reserved for exclusive use by

L0:the Air Force only)

L0:Shipping

L0:Instructions

L0:00001 ? 99999

L0:K0001 ? K9999

L0:S0001 ? S9999

L0:then

L0:KA001 ? KZ999

L0:SA001 ? SZ999

L0:A0001 ? A9999

L0:L0001 ? L9999

L0:T0001 ? T9999

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:Normal modification

L0:Provisioned items order

L0:(reserved for exclusive use by

L0:the Air Force only)

L0:Shipping

L0:Instructions

L0:B0001 ? B9999

L0:LA001 ? LZ999

L0:TA001 ? TZ999

L0:and so on to

L0:M0001 ? M9999

L0:U0001 ? U9999

L0:H0001 ? H9999

L0:MA001 ? MZ999

L0:UA001 ? UZ999

L0:then

L0:N0001 ? N9999

L0:V0001 ? V9999

L0:J0001 ? J9999

L0:NA001 ? NZ999

L0:VA001 ? VZ999

L0:then

L0:P0001 ? P9999

L0:W0001 ? W9999

L0:R0001 ? R9999

L0:PA001 ? PZ999

L0:WA001 ? WZ999

L0:then

L0:Q0001 ? Q9999

L0:X0001 ? X9999

L0:AA001 ? HZ999

L0:QA001 ? QZ999

L0:XA001 ? XZ999

L0:then

L0:JA001 ? JZ999

L0:RA001 ? RZ999

L0:Y0001 ? Y9999

L0:YA001 ? YZ999

L1:(iii) If the contract administration office is changing the contract

L0:administration or disbursement office for the first time and is using computer generated

L0:modifications to notify many offices, it uses the six position supplementary number

L0:ARZ999. If either office has to be changed again during the life of the contract, the

L0:supplementary number will be ARZ998, and on down as needed.

L0:PGI 204.201-70 Policy.

L1:(a) Establishment of a Procurement Instrument Identifier (PIID). Do not reuse a

L0:PIID once it has been assigned. Do not assign the same PIID to more than one task or

L0:delivery order, even if they are issued under different base contracts or agreements.

L1:(b) Transition of PIID numbering. Effective October 1, 2016, all DoD components

L0:must comply with the PIID numbering requirements at FAR 4. 201 and this section for

L0:all new solicitations, contracts, orders, and agreements issued, and any amendments

L0:and modifications to those new actions.

L1:(c) Change in the PIID after its assignment. When a PIID is changed after contract

L0:award, the new PIID is known as a continued contract.

L1:(1) A continued contract?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(i) Does not constitute a new procurement;

L1:(ii) Incorporates all prices, terms, and conditions of the predecessor contract

L1:(iii) Operates as a separate contract independent of the predecessor

L0:contract once issued; and

L1:(iv) Must not be used to evade competition requirements, expand the scope

L0:of work, or extend the period of performance beyond that of the predecessor contract.

L1:(2) When issuing a continued contract, the contracting officer must?

L1:(i) Issue an administrative modification to the predecessor contract to clearly

L0:state that?

L1:(A) Any future awards provided for under the terms of the predecessor

L0:contract (e.g., issuance of orders or exercise of options) will be accomplished under the

L0:continued contract; and

L1:(B) Supplies and services already acquired under the predecessor
L0:contract must remain solely under that contract for purposes of Government inspection,
L0:acceptance, payment, and closeout; and

L1:(ii) A continued contract is issued solely for administrative reasons. When
L0:issuing a continued contract, the contracting officer must perform the following tasks:
L0:issuance of the continued contract.

L1:(A) Obtain approval at a level above the contracting officer before

L1:(B) Assign a PIID to the continued contract that is different from the
L0:PIID assigned to the predecessor contract, using the uniform PIID numbering system
L0:prescribed in FAR 4.201(b) and DFARS 204.201. The predecessor contract will retain
L0:the PIID originally assigned to it.

L1:(C) Find a clear breaking point (e.g., between issuance of orders,
L0:exercise of options, or establishment of a new line of accounting) to issue the continued
L0:contract.

L1:(D) Clearly segregate contractual requirements for purposes of
L0:Government inspection, acceptance, payment, and closeout. Supplies already
L0:delivered and services already performed under the predecessor contract will remain
L0:under the predecessor contract. This will allow the predecessor contract to be closed
L0:out when all inspection, acceptance, payment, and other closeout issues associated
L0:with supplies delivered and services performed under the predecessor contract are
L0:complete.

L1:(E) Include in the continued contract all terms and conditions of the
L0:predecessor contract that pertain to the supplies and services yet to be delivered or
L0:performed. At the time it is issued, the continued contract may not in any way alter the
L0:prices or terms and conditions established in the predecessor contract.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
L0:Defense FAR Supplement (DFARS) Part 204
L0:continued contract, to include the PIID and the effective date of the continued contract.

L1:(F) Provide advance notice to the contractor before issuance of the

L1:(G) Modify the predecessor contract to?

L1:(1) Reflect any necessary administrative changes such as transfer
L0:of Government property, and make the Government property accountable under the
L0:continued contract;
L0:or exercise of options) will be accomplished under the continued contract; and

L1:(2) Clearly state that future performance (e.g., issuance of orders
L0:contract.

L1:(3) Specify the administrative reason for issuing the continued
L0:continued contract to ensure traceability.

L1:(H) Reference the predecessor contract PIID on the face page of the

L1:(ii) Sample language for the administrative modification to the predecessor
L0:contract follows:
L0:This modification is issued for administrative purposes to facilitate continued contract
L0:performance due to [state the reason for assigning an additional PIID]. This
L0:modification is authorized in accordance with FAR 4.201 and DFARS 204.201.
L0:Supplies and services already acquired under this contract number must remain

L0:solely under this contract number for purposes of Government inspection,
L0:acceptance, payment, and closeout. All future [delivery orders] [task orders] [options
L0:exercised] will be accomplished under continued contract [insert contract number].
L0:PGI 204.201-71 Cross reference to Federal Procurement Data System.
L0:The following matrices should be used as a cross reference between the terms used in
L0:the FAR, DFARS, and Federal Procurement Data System (FPDS).
L0:See Next Page
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
L0:Defense FAR Supplement (DFARS) Part 204

L0:STRUCTURE OF REQUIRED IDENTIFIERS

L0:Format
L0:Consists of the concatenation of the following four fields:

L0:Enterprise
L0:Identifier -

L0:DODAAC

L0:of
L0:contracting
L0:office
L0:Six alpha-
L0:numeric
L0:characters
L0:excluding
L0:I and O
L0:Fiscal Year in
L0:which award is
L0:made
L0:Procurement
L0:Instrument Type
L0:Code
L0:Serialized
L0:Identifier
L0:Two numeric
L0:characters
L0:One alpha character
L0:excluding
L0:I and O
L0:Four
L0:alpha-
L0:numeric
L0:characters
L0:excluding
L0:I and O.
L0:0000 is
L0:not an

L0:acceptable

L0:value.

L0:Four alpha-numeric characters excluding I and O. A and P are

L0:prohibited in the first position. 0000 is not an acceptable value.

L0:(NOTE: Four character supplementary PIID order numbers are only

L0:allowed to be issued through FY16. Subsequently, all orders must

L0:be in the format shown above in section A of this table. DoD

L0:activities are encouraged to transition as soon as possible in FY16 to

L0:this new method for numbering orders under DoD contracts and

L0:agreements. Transition must be completed no later than October 1,

L0:2016.)

L0:Six alpha-numeric characters beginning with A or P, excluding I and

L0:O. P00000 and A00000 are not acceptable values.

L0:Two alpha-numeric characters excluding I and O. 00 is not an

L0:acceptable value.

L0:(NOTE: Two character supplementary PIID modification numbers

L0:are only allowed to be issued to DoD orders issued through FY16.

L0:Modification to DoD orders issued after the transition to the new

L0:method of numbering orders under DoD contracts and agreements

L0:must be in the form shown in section C of this table.

L0:4 to 50 Alpha-numeric characters

L0:Key and

L0:Description

L0:A - DoD

L0:Procurement

L0:Instrument

L0:Identifier (PIID)

L0:B - DoD Order

L0:Number

L0:(Supplementary

L0:PIID)

L0:C - DoD

L0:Procurement

L0:Instrument

L0:Modification

L0:Identifier

L0:(Supplementary

L0:PIID)

L0:D - DoD Order

L0:Modification

L0:Identifier

L0:(Supplementary

L0:PIID)

L0:E - Non DoD

L0:Procurement

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:Instrument

L0:Number

L0:ELEMENTS NEEDED TO IDENTIFY A DEPARTMENT OF DEFENSE

L0:PROCUREMENT ACTION

L0:Required as shown below to uniquely identify

L0:the action.

L0:Procurement

L0:Instrument

L0:Action Type

L0:BPA or Order

L0:under a Schedule

L0:or other non-DoD

L0:Instrument

L0:Order against a

L0:BPA under a

L0:Schedule (FY16

L0:and later)

L0:Order against a

L0:BPA under a

L0:Schedule (Pre-

L0:FY16)

L0:DoD Contract,

L0:Purchase Order,

L0:BOA, BPA not

L0:under a

L0:Schedule, or

L0:other instrument

L0:Order against a

L0:DoD Contract,

L0:BOA, BPA not

L0:under a

L0:Schedule, or

L0:other instrument

L0:(FY16 and later)

L0:Order against a

L0:DoD Contract,

L0:BOA, BPA not

L0:under a Schedule

L0:or other

L0:instrument

L1:(Pre-FY16)

L0:Reference

L0:Procurement

L0:Instrument

L0:(Reference

L0:Use Only)

L0:Procurement

L0:Instrument

L0:Identifier

L1:(PIID)

L0:(Contract

L0:Number)

L0:Order Number

L0:Modification

L0:Number

L0:A

L0:A

L0:B

L0:A

L0:B

L0:E

L0:E

L0:E

L0:A

L0:A

L0:A

L0:A

L0:A

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:Modification to a

L0:BPA or Order

L0:under a Schedule

L0:or other non-

L0:DoD instrument

L0:Modification to an

L0:Order against a

L0:BPA under a

L0:Schedule

L0:(FY16 and later)

L0:Modification to an

L0:Order against a

L0:BPA under a

L0:Schedule

L1:(Pre-FY16)
L0:Modification to a
L0:DoD Contract,
L0:Purchase Order,
L0:BOA, BPA not
L0:under a
L0:Schedule, or
L0:other instrument
L0:Modification to an
L0:Order against a
L0:DoD Contract,
L0:BOA, or BPA not
L0:under a schedule
L0:(FY16 and later)
L0:Modification to an
L0:Order against a
L0:DoD Contract,
L0:BOA, or BPA not
L0:under a schedule
L1:(Pre-FY16)
L0:FPDS Crosswalk
L0:BPA or Order
L0:under a Schedule
L0:or other non-DoD
L0:Instrument
L0:Order against a
L0:BPA under a
L0:Schedule (FY16
L0:and later)
L0:Order against a
L0:BPA under a
L0:Schedule
L0:E
L0:E
L0:E
L0:A
L0:A
L0:A
L0:A
L0:A
L0:A
L0:C
L0:C
L0:D

L0:C

L0:C

L0:D

L0:A

L0:B

L0:A

L0:B

L0:REF_IDV

L0:_PIID

L0:E

L0:A

L0:A

L0:FPDS FIELD NAME

L0:REF_IDV_MODIFI-

L0:CATION_NUMBER PIID

L0:MODIFICATION_NUM

L0:BER

L0:Use 0

L0:Use 0

L0:A

L0:A

L0:Use 0

L0:Use 0

L0:Use 0

L0:B*

L0:Use 0

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(Pre-FY16)

L0:DoD Contract,

L0:Purchase Order,

L0:BOA, BPA not

L0:under a Schedule,

L0:or other

L0:instrument

L0:Order against a

L0:DoD Contract,

L0:BOA, BPA not

L0:under a Schedule,

L0:or other

L0:instrument (FY16

L0:and later)

L0:Order against a

L0:DoD Contract,
L0:BOA, BPA not
L0:under a Schedule,
L0:or other
L0:instrument
L1:(Pre-FY16)
L0:Modification to a
L0:BPA or Order
L0:under a Schedule
L0:or other non-DoD
L0:Instrument
L0:Modification to an
L0:Order against a
L0:BPA under a
L0:Schedule
L0:(FY16and later)
L0:Modification to an
L0:Order against a
L0:BPA under a
L0:Schedule
L1:(Pre-FY16)
L0:Modification to a
L0:DoD Contract,
L0:Purchase Order,
L0:BOA, BPA not
L0:under a Schedule,
L0:or other
L0:instrument
L0:Modification to an
L0:Order against a
L0:DoD Contract,
L0:BOA, or BPA not
L0:under a Schedule

L0:A

L0:A

L0:A

L0:A

L0:A

L0:A

L0:Use 0

L0:C

L0:Use 0

L0:Use 0

L0:B*

L0:D*

L0:A

L0:A

L0:Use 0

L0:Use 0

L0:B*

L0:A

L0:C

L0:C

L0:D*

L0:C

L0:A

L0:Use 0

L0:A

L0:C

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:(FY16 and later)

L0:A

L0:Use 0

L0:Modification to an

L0:Order against a

L0:DoD Contract,

L0:BOA, or BPA not

L0:under a Schedule

L1:(Pre-FY16)

L0:* Note that FPDS strips leading zeroes, so that modification 02 to order 0024 is shown

L0:as modification 2 to order 24.

L0:D*

L0:B*

L0:PGI 204.201-72 Order of application for modifications.

L1:(a) There may be situations where the numeric order of the modifications to a

L0:contract does not reflect the order in which those changes to the contract take effect.

L1:(b) To establish the sequence of modifications to a contract or order, the

L0:modifications will be applied in the following order?

L1:(1) Modifications will be applied in order of the effective date on the

L0:modification;

L1:(2) In the event of two or more modifications with the same effective date,

L0:modifications will be applied in signature date order; and

L1:(3) In the event of two or more modifications with the same effective date and

L0:the same signature date, procuring contracting office modifications will be applied in

L0:numeric order, followed by contract administration office modifications in numeric order.

L0:PGI 204.2 - Solicitation, Evaluation, and Award

L0:PGI 204.202-70 Uniform use of line items.

L1:(d) Use of exhibits and attachments.

L1:(1) Exhibits may be used instead of putting a long list of items or subline items

L0:in the contract schedule. Exhibits are particularly useful in buying spare parts.

L1:(2) When using exhibits, establish a line or subline item and refer to the exhibit.

L1:(3) Identify exhibits individually.

L1:(4) Each exhibit must apply to only one line item or subline item.

L1:(5) More than one exhibit may apply to a single line item.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(6) Data items on a DD Form 1423, Contract Data Requirements List, may be

L0:either separately priced or not separately priced.

L1:(i) Separately priced. When data are separately priced, enter the price in

L0:Section B of the contract.

L1:(ii) Not separately priced. Include prices in a priced line item or subline

L0:item.

L1:(7) The contracting officer may append attachments to exhibits, as long as the

L0:attachment does not identify a deliverable requirement that has not been established by

L0:a line item or subline item or exhibit line item.

L1:(8) Include exhibit line items and associated information in the electronically

L0:distributed contract documents identified in PGI 204.271-2(c)(1)(i) and (2).

L1:(e) Use of exhibits and attachments.

L1:(1) Exhibits may be used instead of putting a long list of items or subline items in

L0:the contract schedule. Exhibits are particularly useful in buying spare parts.

L1:(2) When using exhibits, establish a line or subline item and refer to the exhibit.

L1:(3) Identify exhibits individually.

L0:4d) Each exhibit must apply to only one line item or subline item.

L1:(5) More than one exhibit may apply to a single line item.

L1:(6) Data items on a DD Form 1423, Contract Data Requirements List, may be

L0:either separately priced or not separately priced.

L1:(i) Separately priced. When data are separately priced, enter the price in

L0:Section B of the contract.

L1:(ii) Not separately priced. Include prices in a priced line item or subline

L0:item.

L1:(7) The contracting officer may append attachments to exhibits, as long as the

L0:attachment does not identify a deliverable requirement that has not been established by

L0:a line item or subline item or exhibit line item.

L1:(8) Include exhibit line items and associated information in the electronically

L0:distributed contract documents identified in PGI 204.201(c)(1)(i) and (2).

L0:PGI 204.202-71 Establishing line items, subline items, and exhibit line items.

L1:(a) Line Items.

L1:(1) When structuring line items, consider the following:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(i) The effect of the chosen units of measure on administration and

L0:payment, especially on fixed-price contracts.

L1:(ii) The need for periodic deliveries and payments when selecting a unit of

L0:measure as it may impact the contractor's cashflow during contract performance.

L1:(iii) The impact of any financing arrangements under FAR part 32 and

L0:whether there is a need to consider cashflow for progress payments.

L1:(2) Minimum requirements.

L1:(i) Supply line items:

L1:(A) Contracting officers must match the quantity to the actual number of

L0:the supplies to be provided. If more than one delivery is expected, the quantity cannot

L0:be ?1?.

L0:and detail to be identified by a third party in order to?

L1:(B) Describe the item or supply being procured in sufficient specificity

L1:(1) Submit a bid, quote, or offer;

L1:(2) Receive the item or supply;

L1:(3) Inspect the item or supply;

L1:(4) Pay for it; and

L1:(5) Inventory if applicable

L1:(C) Use manufacturer part numbers or similar identifiers when

L0:available.

L1:(i) Service line items:

L1:(A) Contracting officers must match the quantities with the frequency

L0:with which performance will be reviewed, and on fixed-price line items, payment made.

L0:If the quantity used is 1, then the contract only allows for 1 payment, 1 time, for that 1

L0:delivery when performance is completed. In contrast, if performance will be reviewed,

L0:accepted, and paid on a monthly basis, the quantity should reflect the number of

L0:months in the period of performance. For example, a 12-month effort should reflect a

L0:quantity of 12, a unit of measure of months or lots and the amount which will be paid

L0:each month.

L1:(B) Describe the services being procured and accepted in a manner

L0:that traces the requirements of the performance work statement (PWS), statement of

L0:work (SOW), or statement of objectives (SOO) to the line item structure so that a third

L0:party can?

L1:(1) Submit a bid, quote or offer;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(2) Observe and inspect performance;

L1:(3) Accept performance; and

L1:(4) Pay for the services

L1:(3) Add any performance incentives or award fees to the same deliverable line

L0:item on which the performance occurs.

L1:(4) Single accounting classification citation. Establish informational subline

L0:items for each accounting classification citation when the use of multiple accounting

L0:classification citations is necessary for a single deliverable.

L1:(5) The line item number must be the same as the solicitation line item number

L0:unless there is a valid reason for using different numbers.

L1:(b) Subline items.

L1:(1) Deliverable subline items. Subline items will be used instead of line items to facilitate payment, delivery tracking, contract funds accounting, or other management purposes. Such subline items must be used when items bought under one line item number?

L1:(i) Are to be paid for from more than one accounting classification. A subline item must be established for the quantity associated with the single accounting classification citation. Establish a line item rather than a subline item if it is likely that a subline item may be assigned additional accounting classification citations at a later date. Identify the funding as required at PGI 204.202-71(a)(4));

L1:(ii) Are to be packaged in different sizes, each represented by its own NSN;

L1:(iii) Have collateral costs, such as packaging costs, but those costs are not a part of the unit price of the line item;

L1:(iv) Have different delivery dates or destinations or requisitions, or a combination of the three; or

L1:(v) Identify parts of an assembly or kit which?

L0:performance; and

L1:(A) Have to be separately identified at the time of shipment or

L1:(B) Are separately priced.

L1:(2) Informational subline items.

L1:(i) Informational subline items must be used to identify each accounting classification citation assigned to a single line item number when use of multiple citations is authorized (see PGI 204.202-71(a)(4)).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(ii) Contracting officers must not provide pricing arrangement, delivery, inspection, or acceptance information on informational subline items.

L1:(c) Exhibit line items.

L1:(1) A line item or subline item may refer to an exhibit or multiple exhibits.

L0:However, each exhibit may only be associated with one line item or subline item. An exhibit may contain one or more exhibit line items.

L1:(2) Exhibit line items are separately identifiable and require the elements at FAR

L0:4.202-4.

L1:(3) All line items sharing the same exhibit must be the same contract type.

L0:PGI 204.202-72 Required data elements.

L2:(a)(1) Line items. Line items must consist of four numeric digits from 0001 to 9999.

L1:(2) Subline items.

L1:(i) Subline items must consist of a ?line item base? (four numeric digits derived from the separately identifiable or informational line item associated with one or more subline items) concatenated with an ?extension? of either two numeric or two alpha characters, depending on the type of subline item.

L1:(ii) Types of subline items.

L1:(A) Deliverable subline items. The line item extension for deliverable

L0:subline items must only consist of two alpha characters from AA through ZZ. Use alpha characters for deliverable subline items, running AA through ZZ. For example, where line

L0:item 0005 is associated with three deliverable subline items, line item base 0005 would be concatenated with extensions AA, AB, and AC to form deliverable subline items 0005AA, 0005AB, and 0005AC.

L1:(B) Informational subline items. The line item extension for informational subline items must only consist of two numeric characters from 01 through 99. For example, where line item 0001 has two informational subline items, line item base 0001 would be concatenated with extensions 01 and 02 to form info subline items 000101 and 000102.

L1:(3) Exhibit line items. Exhibit line items must be associated with informational line items or subline items using an exhibit identifier. Exhibit line items must consist of the exhibit identifier concatenated with a serial extension. For example, where informational line item 0004 is associated with Exhibit C, associated ELINs would be C001, C002, C003, etc. Where exhibit identifiers consist of two alpha characters, excluding I and O, the serial number following the exhibit identifier in an exhibit line item number would be two digits. For example, given Exhibit GG, exhibit line items could include GG01, GG02, GG03, GG04, etc. Serial numbers need not be consecutive, but they must be unique.

L1:(b) Line item descriptions. Two types of descriptions may exist: a short description, sometimes referred to as a "noun", and a long description. Short descriptions should concisely describe a deliverable or label a line item or subline item as informational.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:Contracting officers must take great care to not use vague descriptions or descriptions that provide redundant information otherwise captured in data elements such as the period of the effort, such as supplies, products, spares, option line, FY 20XX requirement. While contracting officers may use "miscellaneous text" to further describe deliverables, overuse is highly discouraged. Styling text with bold, underline, strikethrough, etc., is also highly discouraged. Contracting officers should not use tables within text fields, despite several contract writing systems making them available for use.

L2:(c)(1) Use of PSCs. The list of active PSCs is available in the PSC Manual at https://www.acquisition.gov/PSC_Manual. Contracting officers must ensure PSCs are current at the time a line item, subline item, or exhibit line item is established; however, unless otherwise required by statute, regulation, policy, or the contract, contracting officers are not required to change a PSC on an existing line item if the PSC is deactivated or modified.

L1:(2) The list of allowable units of measure is on the Defense Pricing, Contracting, and Acquisition Policy website at

https://www.acq.osd.mil/asda/dpc/ce/ds/docs/pds/Line_Item_UoM_List.xlsx.

L1:(3) Delivery and acceptance locations must be defined using Activity Address

Codes published in (1) DoD Activity Address Directory (DODAAD), DoD 4000.25-6-M, or (2) Military Assistance Program Address Directory System (MAPAD), DoD 4000.25-8-M and available for verification at <https://www.daas.dla.mil/daasing/default.asp>.

L1:(4) Assign acceptance or approval responsibility using an Activity Address

Code. Do not assign acceptance responsibility to an Activity Address code that does not have acceptors assigned in WAWF, unless one of the exceptions to WAWF at section 232.7002 applies. Available roles for an Activity Address Code can be verified

L0:at the Active DoDAACs & Roles link on the WAWF homepage at

L0:<https://piee.eb.mil/xhtml/unauth/home/login.xhtml>.

L1:(5) Use an Accounting Classification Reference Number (ACRN) to associate

L0:an accounting classification citation with a line item, subline item, or exhibit line item.

L0:(See PGI 204.202-75).

L1:(6) Contracts for foreign military sales (FMS) must provide traceability for each

L0:Defense Security Cooperation Agency FMS case identifier to a deliverable.

L1:(d) Define delivery locations using Activity Address Codes located at

L0:<https://home.daas.dla.mil/DAASINQ/default.asp> and in accordance with?

L1:(1) DoD Activity Address Directory (DODAAD), DoD Defense Logistics Manual

L1:(DLM) 4000.25, Volume 6, Chapter 2; or

L1:(2) Military Assistance Program Address Directory System (MAPAD), DoD DLM

L0:4000.25, Volume 6, Chapter 3.

L1:(e) The following examples illustrate when the requirements at paragraph (a)

L0:apply?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(1) Separately identifiable subline items. The rule applies to subline items

L0:0001AA and 0001AB. It does not apply to the line item 0001, because it does not have

L0:a deliverable.

L0:ITEM NO. SUPPLIES/SERVICE QUANTITY UNIT

L0:0001

L0:0001AA

L0:0001AB

L0:Widgets

L0:Red painted widgets

L0:Unpainted widgets

L0:6

L0:6

L0:EA

L0:EA

L0:UNIT

L0:PRICE

L0:\$10.00

L0:\$9.50

L0:AMOUNT

L0:\$60.00

L0:\$57.00

L1:(2) Informational subline items. The rule applies to line item 0001. It does not

L0:apply to subline items 000101, 000102, and 000103 because they do not have

L0:deliverables.

L0:ITEM

L0:NO.

L0:0001

L0:000101

L0:000102

L0:000103

L0:SUPPLIES/SERVICE QUANTITY UNIT

L0:1

L0:LOT

L0:Widget

L0:implementation Joint

L0:Service Study

L0:Army funding

L0:(AA: \$20,000)

L0:Navy funding

L0:(AB: \$20,000)

L0:Air Force funding

L0:(AC: \$20,000)

L0:UNIT

L0:PRICE

L0:\$60,000

L0:AMOUNT

L0:\$60,000

L1:(3) Line item with no subline items. The rule applies.

L0:ITEM

L0:NO.

L0:0001

L0:SUPPLIES/SERVICE QUANTITY UNIT

L0:Red painted widgets

L0:6

L0:EA

L0:UNIT

L0:PRICE

L0:\$10.00

L0:AMOUNT

L0:\$60.00

L1:(4) Line item is parent to an exhibit. The rule applies to the exhibit lines.

L0:ITEM

L0:NO.

L0:0001

L0:A001

L0:A002

L0:SUPPLIES/SERVICE QUANTITY UNIT

L0:UNIT

L0:PRICE

L0:AMOUNT

L0:See exhibit A

L0:(\$117.00)

L0:Red painted widgets

L0:Unpainted widgets

L0:6

L0:6

L0:EA

L0:EA

L0:\$10.00

L0:\$9.50

L0:\$60.00

L0:\$57.00

L1:(5) Line is parent to a subline item which refers to an exhibit. The rule applies

L0:to the exhibit lines.

L0:ITEM NO. SUPPLIES/SERVICE QUANTITY UNIT

L0:UNIT

L0:PRICE

L0:AMOUNT

L0:0001

L0:0001AA

L0:0001AB

L0:Widget program

L0:Design and develop

L0:widgets

L0:See exhibit A

L0:1

L0:LOT

L0:\$500.00

L0:\$500.00

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:A001

L0:A002

L0:(\$117.00)

L0:Red painted widgets

L0:Unpainted widgets

L0:6

L0:6

L1:(f) Exceptions to required data elements .

L0:EA

L0:EA

L0:\$10.00

L0:\$9.50

L0:\$60.00

L0:\$57.00

L1:(1) Line items that are not priced separately are labelled ?Not Separately Priced

L0:or NSP as an entry for price or amount if the price is included in another subline item or

L0:a different line item. Include the line item or subline item that includes the price in the

L0:description block.

L1:(2) This requirement does not apply if the subline item or line item was created to

L0:refer to an exhibit. If management needs dictate that a unit price be entered, the price

L0:must be included in the item description block of the schedule and enclosed in

L0:parentheses.

L1:(3) When a subline item has deliverable separately priced exhibit line items, the

L0:delivery schedule, destination, period of performance, or place of performance should

L0:be identified at the exhibit line level, rather than the subline item level.

L0:PGI 204.202-73 Modification requirements.

L0:Create a new line item, subline item, or exhibit line item if a change results in?

L1:(a) A material change in price; or

L1:(b) A technical change which results in?

L1:(1) A materially different item than the original item, or

L1:(2) A variation in performance, outcomes, or deliverables.

L0:PGI 204.202-74 Traceability of Appropriations

L1:(a) Scope. This PGI section provides the policies and procedures for associating

L0:line item numbers to funding appropriations.

L1:(b) Requirements for traceability from the purchase request. Every purchase

L0:request must be recorded on the resulting contract action to establish unique traceability

L0:to requirements and funding (see DFARS 204.202-74).

L1:(1) Purchase request numbers and purchase request line item numbers must

L0:be identified in the contract.

L1:(2) All purchase request numbers and purchase request line item numbers must

L0:be included on the corresponding contract line or subline items in section B of the

L0:Schedule, or its equivalent.

L1:(3) If only one purchase request applies to the contract action, that purchase

L0:request number may be shown on the contract form in the appropriate field (e.g. block 4

L0:of SF 26 or block 1 of the SF 1449).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(4) If more than one purchase request is on a contract award, the purchase

L0:request number field in Section A or its equivalent section of the contract must read

L0:See Schedule?.

L1:(5) If the purchase request includes a Commitment Identification Number (CIN)

L0:field to provide traceability in addition to the purchase request line item number, ensure

L0:each CIN is placed on the corresponding line item number on the contract.

L1:(6) If the purchase request originates from a requisition (e.g. MILSTRIP or L0:FEDSTRIP) or a Military Interdepartmental Purchase Request (DD 448), include the L0:document identifier and the purchase request information in (a), if applicable, on each L0:line item on the contract.

L1:(7) If a contract action was not initiated via a purchase request (e.g. issuance of L0:a Basic Ordering Agreement or a modification that does not obligate funds) then the L0:purchase request information in (a) may be blank.

L1:(c) Procedures.

L1:(1) Establishing the contract ACRN.

L1:(i) The contracting office issuing the contract or order is responsible for L0:assigning ACRNs.

L1:(ii) Do not assign-

L1:(A) An ACRN to more than one accounting classification citation; or,

L1:(B) More than one ACRN to one accounting classification citation.

L1:(2) The contract must include the accounting classification citation and ACRN L0:as follows:

L1:(i) In the accounting and appropriations data block in section A or its L0:equivalent section of the contract if space allows or in section G, Contract L0:Administration Data (or its equivalent)-

L0:classification citation,

L1:(A) The ACRN must be shown as a detached prefix to the accounting L0:transportation officer to cite on Government bills of lading.

L1:(B) Unless the accounting classification citation is only present for the

L1:(ii) ACRNs must be shown in the supplies/services column near the item L0:description in Section B or equivalent (see PGI 204.202-75).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:PGI 204.202-75 Numbering format for line items, subline items, and exhibit line L0:items.

L2:(a)(1) Line item numbering. Do not use the letters I or O.

L1:(2) Do not use lowercase alpha characters

L1:(3) Do not use special characters (e.g. \$, &) or spaces

L1:(4) Do not re-purpose a number that has been deleted, terminated, canceled, or L0:otherwise removed from the contract.

L1:(5) Numbers must be sequential but do not need to be consecutive.

L1:(b) Subline item numbering. Number subline items by adding either two numeric L0:characters or two alpha characters to the basic line item number.

L1:(1) Information subline item numbers. Use numeric characters only for

L0:information subline items, running 01 through 99. Do not use spaces or special

L0:characters to separate the subline item number from the line item number that is its

L0:root. For example, if the line item number is 0001, the first three subline items would be

L0:000101, 000102, and 000103. Do not use a designation more than once within a line L0:item.

L1:(2) Separately identified subline items. Use alpha characters only for separately

L0:identified subline items, running AA through ZZ. Do not use spaces or special

L0:characters to separate the subline item number from the line item number that is its
L0:root. For example, if the line item number is 0001, the first three subline items would be
L0:0001AA, 0001AB, and 0001AC.

L1:(i) Do not use the letters I or O as alpha characters.

L1:(ii) Use all 24 available alpha characters in the second position before
L0:selecting a different alpha character for the first position. For example, AA, AB, AC,
L0:through AZ before beginning BA, BB, and BC.

L1:(c) Within a given line item, the subline item numbers must be sequential but need
L0:not be consecutive.

L1:(d) If exhibits are used, create a contract subline item citing the exhibit's identifier.

L0:See PGI 204.202-72.

L1:(e) If a line item involves ancillary functions, like packaging and handling,
L0:transportation, payment of state or local taxes, or use of reusable containers, and these
L0:functions are normally performed by the contractor and the contractor is normally
L0:entitled to reimbursement for performing these functions, do not establish a separate
L0:subline item solely to account for these functions. However, do identify the functions in
L0:the contract schedule. If an offeror separately prices these functions, the contracting
L0:officer may establish separate subline items for the functions; however, the separate
L0:subline items must conform to the requirements of DFARS 204.202-4.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(f) The following examples illustrate subline items numbering?

L1:(1) Subline items structured to identify destinations for identical items,
L0:identically priced (delivery schedule must be established for each subline item, not the
L0:line item).

L0:ITEM NO.

L0:SUPPLIES/SERVICE

L0:QUANTITY UNIT

L0:UNIT

L0:PRICE

L0:AMOUNT

L0:0001

L0:0001AA

L0:0001AB

L0:0001AC

L0:NSN 1615-00-591-6620

L0:Shim, Aluminum Alloy,...

L0:Apbl, Rotor, Helicopter

L0:PRON A1-9-63821-M1-

L0:M1 ACRN:AA

L0:A3168R-9030-4025

L0:A2537M IPD: 2 RDD:

L0:334 PROJ: 501

L0:A3168R-9030-4026

L0:A51AXBM IPD: 2 RDD:

L0:325 PROJ: 502

L0:A3168R-9030-4027

L0:A67KBCM IPD: 2 RDD:

L0:349 PROJ: 503

L0:10

L0:10

L0:15

L0:EA

L0:\$100.00

L0:\$1,000.00

L0:EA

L0:\$100.00

L0:\$1,000.00

L0:EA

L0:\$100.00

L0:\$1,500.00

L1:(2) Subline items structured to identify destinations for identical items, not

L0:identically priced (delivery schedule must be established for each subline item, not the

L0:line item).

L0:ITEM

L0:NO.

L0:0001

L0:0001AA

L0:0001AB

L0:0001AC

L0:SUPPLIES/SERVICE

L0:QUANTITY UNIT

L0:UNIT

L0:PRICE

L0:AMOUNT

L0:NSN 1615-00-591-6620

L0:Shim, Aluminum Alloy,...

L0:Apbl, Rotor, Helicopter

L0:PRON A1-9-63821-M1-

L0:M1 ACRN:AA

L0:A3168R-9030-4025

L0:A2537M IPD: 2 RDD:

L0:334 PROJ: 501

L0:A3168R-9030-4026

L0:A51AXBM IPD: 2 RDD:

L0:325 PROJ: 502

L0:A3168R-9030-4027

L0:A67KBCM IPD: 2 RDD:

L0:349 PROJ: 503

L0:10

L0:20

L0:30

L0:EA

L0:\$100.00

L0:\$1,000.00

L0:EA

L0:\$99.00

L0:\$1,980.00

L0:EA

L0:\$98.00

L0:\$2,940.00

L0:NOTE: Difference in prices for identical items is due to separate destinations for FOB
L0:destination delivery.

L1:(3) Subline items structured to identify different sizes of an item that are not
L0:identically priced (delivery schedule must be established for each subline item, not the
L0:line item).

L0:ITEM

L0:NO.

L0:0002

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:SUPPLIES/ SERVICE

L0:QUANTITY UNIT

L0:UNIT

L0:PRICE

L0:AMOUNT

L0:Body Armor Ground

L0:Troops Variable Type

L0:Small Arms,

L0:Fragmentation Protective

L0:Nylon Felt Vest, Front

L0:and Back Plates,

L0:Ceramic Plate, Type I

L0:0002AA First Article

L0:0002AB 8470-00-141-0935

L0:Medium

L0:Regular

L0:1

L0:1936

L0:LO

L0:SE

L0:NSP

L0:\$331.77 \$642,306.72

L0:0002AC 8470-00-141-0936 Large

L0:625

L0:SE

L0:\$355.77 \$222,356.25

L0:Regular

L0:0002AD 8470-00-141-0937,

L0:Medium

L0:Long

L0:1237

L0:SE

L0:\$346.77 \$428,954.49

L0:0002AE 8470-00-141-0938, Large

L0:804

L0:SE

L0:\$365.77 \$294,079.08

L0:Long

L1:(4) Subline items structured to provide the capability for relating subordinate

L0:separately priced packaging costs to the overall line item. (Separate delivery schedules

L0:must be established for the subline item identifying the contractor's product and for the

L0:subline item identifying packaging. No schedule will be established for the line item.)

L0:ITEM

L0:NO.

L0:0001

L0:0001AA

L0:0001AB

L0:SUPPLIES/ SERVICE

L0:QUANTITY UNIT

L0:UNIT

L0:PRICE

L0:AMOUNT

L0:6105-00-635-6568 50380

L0:Ref No 63504-WZ

L0:Armature Motor ACRN:

L0:AA

L0:6105-00-635-6568 50380

L0:Ref No 63504-WZ

L0:Armature Motor ACRN:

L0:AA

L0:Packaging ACRN:AA

L0:2

L0:2

L0:EA

L0:\$2,895.87 \$5,791.74

L0:EA

L0:\$289.58

L0:\$579.16

L1:(5) Subline items structured to identify different accounting classifications for

L0:identical items (delivery schedule must be established for each subline item, not the line

L0:item).

L0:AJ: 17X150518350315069100000192B000000000000000000

L0:AK: 17X150518370317569100000192B000000000000000000

L0:AL: 17X150519350314369100000192B000000000000000000

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:ITEM

L0:NO.

L0:0002

L0:SUPPLIES/

L0:SERVICE

L0:Pulse Decoder

L0:KY-312/A5Q-19

L0:0002AA Pulse Decoder

L0:KY-312/A5Q-19

L0:ACRN: AJ

L0:0002AB Pulse Decoder

L0:KY-312/A5Q-19

L0:ACRN: AK

L0:0002AC Pulse Decoder

L0:KY-312/A5Q-19

L0:ACRN: AL

L0:QUANTITY UNIT UNIT PRICE

L0:AMOUNT

L0:EA

L0:\$3,037.40

L0:2

L0:6

L0:2

L0:\$6,074.80

L0:\$18,224.40

L0:\$6,074.80

L0:NOTE: Unit price may be shown at line item level and total amounts shown at subline

L0:item level.

L1:(6) Informational subline items established to identify multiple accounting

L0:classification citations assigned to a single line item.

L0:ITEM

L0:NO.

L0:0001 Air Vehicle

L0:SUPPLIES/ SERVICE QUANTITY

L0:UNIT UNIT PRICE AMOUNT

L0:1

L0:EA

L0:\$6,700,000

L0:\$6,700,000

L0:000101 ACRN:AA

L0:\$3,300,000

L0:000102 ACRN:AB

L0:\$2,000,000

L0:000103 ACRN:AC

L0:\$1,400,000

L1:(7) Subline items structured to identify parts of an assembly (delivery schedule

L0:and price must be established for each identified part at the subline item level, not for

L0:the assembly at the line item level).

L0:ITEM

L0:NO.

L0:0003

L0:SUPPLIES/

L0:SERVICE

L0:Automatic Degausing

L0:System Consisting of:

L0:(2 ea @ \$52,061;

L0:\$104,122 total)

L0:0003AA Switchboard

L0:0003AB Remote Control

L0:Panel

L0:0003AC Power Supply (M

L0:Coil) SSM Type 145

L0:Amps, 220 V DC)

L0:*

L0:*

L0:*

L0:0003AF Power Supply (A Coil)

L0:QUANTITY UNIT UNIT PRICE

L0:AMOUNT

L0:2

L0:2

L0:2

L0:2

L0:EA

L0:EA

L0:EA

L0:EA

L0:\$52,061.00

L0:\$104,122.00

L0:NSP

L0:NSP

L0:*

L0:NSP

L0:*

L0:SSM Type (118

L0:Amps, 220 V DC)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(8) Subline items structured to identify parts of a kit (delivery schedule and price

L0:must be established for each identified part at the subline item level, not for the kit at the

L0:line item level).

L0:ITEM

L0:NO.

L0:0031

L0:0031AA

L0:SUPPLIES/

L0:SERVICE

L0:Conversion Kit to

L0:Convert Torpedo MK

L0:45 Mod 0 to Torpedo

L0:MK 45 Mod 1

L0:(50 Kt @ \$10,868.52;

L0:\$543,426 total)

L0:Integrator Assy LD

L0:620106

L0:0031AB Pulse Generator Assy

L0:LD 587569

L0:0031AC Drive Shaft Assy LD

L0:587559

L0:*

L0:*

L0:*

L0:0031BF Actual Panel Assy LD

L0:542924

L0:QUANTITY UNIT UNIT PRICE

L0:AMOUNT

L0:50

L0:50

L0:50

L0:50

L0:EA

L0:\$10,868.52

L0:\$543,426.00

L0:EA

L0:EA

L0:EA

L0:NSP

L0:NSP

L0:*

L0:NSP

L0:NOTE: In this example, the prices of subline items 0031AB through 0031BF are included in the Integrator Assembly.

L1:(g) Numbering exhibits and attachments.

L1:(1) Use alpha characters to identify exhibits. The alpha characters must be either single or double capital letters. Do not use the letters I or O.

L1:(2) Once an identifier has been assigned to an exhibit, do not use it on another exhibit in the same contract.

L1:(3) The identifier must always appear in the first or first and second positions of all applicable exhibit line item numbers.

L1:(4) If the exhibit has more than one page, cite the procurement instrument identification number, exhibit identifier, and applicable line or subline item number on each page.

L1:(5) Use numbers to identify attachments.

L0:PGI 204.202-76 Payment allocation instructions

L0:When multiple accounting citations are present, the payment office must allocate and record the amounts paid to the accounting classification citations in the contract using the table below based on the type of payment request submitted (see DFARS 252.232-7006) and the type of effort.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:PGI 204.202-77 Payment instructions.

L1:(a) Use payment instructions in contracts and orders that are funded by multiple

L0:accounting classification reference number (ACRN) citations and?

L1:(1) Include deliverable line items or deliverable subline items (see FAR 4.202)

L0:that are funded by multiple ACRNs; or

L1:(2) Authorize financing payments.

L1:(b) Insert the table at paragraph (c) of this section in Section G of the contract, or

L0:equivalent. When some, but not all, of the fixed-price line items in a contract are subject

L0:to contract financing payments, the contracting officer must clearly identify to which line

L0:items the payment clause(s) included in Section I of the contract apply.

L1:(c) The payment office must allocate and record the amounts paid from the ACRNs

L0:in the contract using table 204-1 based on the type of payment request submitted (see

L0:DFARS 252.232-7006) and the type of effort identified by the Product Service Code for

L0:each deliverable line item or subline item (see FAR 4.202-4).

L0:See Next Page

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:Table 204-1

L0:For Government Use Only

L0:Contract/Order

L0:Payment Clause

L0:Type of

L0:Payment

L0:Request

L0:y

L0:l

L0:p

L0:p

L0:u

L0:S

L0:e

L0:c

L0:i

L0:v

L0:r

L0:e

L0:S

L0:n

L0:o

L0:i

L0:t

L0:c

L0:u

L0:r

L0:t

L0:s

L0:n

L0:o

L0:C

L0:Payment Office

L0:Allocation Method

52.212-4 (Alt I),

Status: active

L0:52.212-4 (Alt I),

L0:Contract Terms and

L0:Conditions?

L0:Commercial Products

L0:and Commercial

L0:Services;

L0:52.216-7, Allowable

L0:Cost and Payment;

L0:52.232-7, Payments

L0:Under Time-and-

L0:Materials and Labor-

L0:Hour Contracts

L0:52.232-1, Payments,

L0:252.217-7007,

L0:Payments

L0:(vessel repair and

L0:alterations)

L0:52.232-1, Payments;

L0:52.232-2, Payments

L0:Under Fixed-Price

L0:Research and

L0:Development

L0:Contracts;

L0:52.232-3, Payments

L0:Under Personal

L0:Services Contracts;

L0:52.232-4, Payments

L0:Under Transportation

L0:Contracts and

L0:Transportation-

L0:Related Services

L0:Contracts; and

L0:Cost Voucher X

L0:X N/A Line item specific proration.

L0:If there is more than one

L0:ACRN within a deliverable line

L0:item, the funds will be

L0:allocated in the same

L0:proportion as the amount of

L0:funding currently unliquidated

L0:for each ACRN on the line

L0:item billed.

L0:X

L0:Navy

L0:Shipbuilding

L0:Invoice

L0:(Fixed Price)

L0:Invoice

L0:X

L0:X N/A Line item specific by fiscal

L0:X N/A Line item specific proration.

L0:year. If there is more than one

L0:ACRN within a deliverable line

L0:or deliverable subline item, the

L0:funds will be allocated using

L0:the oldest funds first. In the

L0:event of a deliverable line or

L0:deliverable subline item with

L0:two or more ACRNs with the

L0:same fiscal year, those

L0:amounts will be prorated to

L0:the available unliquidated

L0:funds for that year.

L0:If there is more than one

L0:ACRN within a deliverable line

L0:item or deliverable subline

L0:item, the funds will be

L0:allocated in the same

L0:proportion as the amount of

L0:funding currently unliquidated

L0:for each ACRN on the

L0:deliverable line or deliverable

L0:subline item for which

L0:payment is requested.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:52.232-6, Payments

L0:Under

L0:Communication

L0:Service Contracts

L0:With Common

L0:Carriers

L0:52.232-5, Payments

L0:Under Fixed-Price

L0:Construction

L0:Contracts

L0:N/A N/A

L0:X

L0:Construction

L0:and Facilities

L0:Management

L0:Invoice

L0:52.232-16, Progress

L0:Payments

L0:(excluding contracts

L0:with multiple lot

L0:progress payments)

L0:Progress

L0:Payment*

L0:X

L0:Progress

L0:Payment*

L0:X

L0:52.232-16, Progress

L0:Payments;

L0:252.232-7018,

L0:Progress

L0:Payments?Multiple

L0:Lots

L0:X N/A Contract-wide proration.

L0:Line item specific by fiscal

L0:year. If there is more than one

L0:ACRN within a deliverable line

L0:or deliverable subline item, the

L0:funds will be allocated using

L0:the oldest funds first. In the

L0:event of a deliverable line or

L0:deliverable subline item with

L0:two or more ACRNs with the

L0:same fiscal year, those

L0:amounts will be prorated to

L0:the available unliquidated
L0:funds for that year.
L0:Funds must be allocated in
L0:the same proportion as the
L0:amount of funding currently
L0:unliquidated for each ACRN.
L0:Progress payments are
L0:considered contract level
L0:financing, and the ?contract
L0:price? must reflect the fixed-
L0:price portion of the contract
L0:per FAR 32.501-3.
L0:lots specifically identified in the
L0:contract).
L0:If there is more than one
L0:ACRN within a lot, the funds
L0:will be allocated in the same
L0:proportion as the amount of
L0:funding currently unliquidated
L0:for each ACRN on the lot for
L0:which payment is requested.
L0:X N/A Lot-wide proration (applies to
L0:See paragraph (c) of this
L0:section for multiple lot CLIN
L0:structure.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4
L0:Defense FAR Supplement (DFARS) Part 204

L0:X

L0:Commercial
L0:Product and
L0:Commercial
L0:Service
L0:Financing*
L0:X N/A Specified in approved
L0:payment. The contracting
L0:officer must specify the
L0:amount to be paid and the
L0:account(s) to be charged for
L0:each payment approval in
L0:accordance with FAR
L0:32.207(b)(2).
L0:52.232-29, Terms for
L0:Financing of
L0:Purchases of
L0:Commercial Products

L0:and Commercial

L0:Services; 52.232-30,

L0:Installment Payments

L0:for Commercial

L0:Products and

L0:Commercial Services

L0:52.232-32,

L0:Performance-Based

L0:Payments

L0:Performance-

L0:Based

L0:Payments*

L0:X

L0:X N/A Specified in approved

L0:payment. The contracting

L0:officer must specify the

L0:amount to be paid and the

L0:account(s) to be charged for

L0:each payment approval in

L0:accordance with FAR

L0:32.1007(b)(2).

L0:items and countries in a

L0:manner acceptable to the

L0:administrative contracting

L0:officer.

L0:X N/A Allocate costs among line

L0:252.232-7002,

L0:Progress Payments

L0:for Foreign Military

L0:Sales Acquisitions

L0:Progress

L0:Payment*

L0:X

L0:*Liquidation of Financing Payments. Liquidation will be applied by the payment office

L0:against those ACRNs which are identified by the payment instructions for the delivery

L0:payment and in keeping with the liquidation provision of the applicable contract financing

L0:clause (i.e., progress payment, performance-based payment, or commercial product and

L0:commercial service financing).

L1:(c) The following example illustrates a contract with multiple lots. Note that each lot

L0:is specifically identified in Section B of the Schedule in the event lot-wide proration will

L0:be used in accordance with DFARS 252.232-7018, Progress Payments-Multiple Lots.

L0:Note also that cost-reimbursement line items are not included in the request for

L0:progress payment.

L0:Section B - Supplies or services and prices/costs.

L0:ITEM**L0:NO.****L0:SUPPLIES/SERVICE QUANTITY UNIT UNIT PRICE****L0:AMOUNT**

L0:Lot 1 (FYXX)

L0:0001

L0:Lot 1 ABC Vehicle

L1:(FFP)

L0:0001AA Lot 1 ABC Vehicles,

L0:Army (Procurement)

L0:0001AB Lot 1 ABC Vehicles,

L0:Marine Corps

L1:(Procurement)

L0:0002

L0:Data for Item 0001

L0:19**L0:11****L0:EA****L0:EA****L0:\$300,000****L0:\$5,700,000****L0:\$300,000****L0:\$3,300,000****L0:NSP**

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:SUPPLIES/SERVICE QUANTITY UNIT UNIT PRICE**L0:AMOUNT**

L0:Lot 1 Initial Spares

L1:(FFP)**L0:ITEM****L0:NO.****L0:0003**

L0:0003AA Lot 1 ABC Vehicle

L0:Initial Spares Army

L0:(See Exhibit C,

L0:\$456,000)

L1:(Procurement)

L0:0003AB Lot 1 ABC Vehicle

L0:0004

L0:Initial Spares Marine

L0:Corps (See Exhibit D,

L0:\$264,000)

L1:(Procurement)

L0:Lot 1 System

L0:Engineering and

L0:Program

L0:Management (CPFF)

L0:OPTION ITEMS

L0:Lot 2 (FYXY)

L0:1001

L0:Lot 2 ABC Vehicles

L1:(FFP)

L0:1001AA Lot 2 ABC Vehicles,

L0:Army (Procurement)

L0:1001AB Lot 2 ABC Vehicles,

L0:1002

L0:1003

L0:Marine Corps

L1:(Procurement)

L0:Data for Item 1001

L0:Lot 2 Initial Spares

L1:(FFP)

L0:1003AA Lot 2 ABC Vehicle

L0:Initial Spares Army

L0:(See Exhibit E,

L0:\$606,000)

L1:(Procurement)

L0:1003AB Lot 2 ABC Vehicle

L0:Initial Spares Marine

L0:Corps (See Exhibit F,

L0:\$363,600)

L1:(Procurement)

L0:1

L0:Lot

L0:Est. Cost:

L0:\$167,400

L0:Fixed Fee:

L0:\$12,600

L0:25

L0:15

L0:EA

L0:\$303,000

L0:\$7,575,000

L0:EA

L0:\$307,500

L0:\$4,545,000

L0:NSP

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:ITEM

L0:NO.

L0:1004

L0:SUPPLIES/SERVICE QUANTITY UNIT UNIT PRICE

L0:AMOUNT

L0:Lot 2 System

L0:Engineering and

L0:Program

L0:Management (CPFF)

L0:1

L0:Lot

L0:Est. Cost:

L0:\$225,432

L0:Fixed Fee:

L0:\$16,968

L0:PGI 204.203 System for Award Management.

L0:PGI 204.203-270 Procedures.

L1:(a) Assist offerors in obtaining the required Commercial and Government Entity

L1:(CAGE) codes. Note that if an offeror's facility requires security clearance in

L0:accordance with a potential contract, the offeror is required to have a CAGE code

L0:assigned to that facility. If the facility is a location other than the offeror's office

L0:submitting the proposal, that facility is not required to be separately registered in the

L0:System for Award Management (SAM) in order to have a CAGE code assigned.

L0:Offerors may be directed to the DLA CAGE Branch (see PGI 204.203-271 for contact

L0:information);

L1:(b) Do not deny a potential offeror a solicitation package because the offeror does

L0:not have a CAGE code, unique entity identifier, or TIN;

L1:(c) Do not require a contractor to register sections or locations of their organization

L0:in SAM for reasons not already required by clauses present in their contracts in order to

L0:obtain a CAGE code; and

L1:(d) Do not require a contractor to obtain new CAGE codes or change CAGE code

L0:records assigned to their locations solely for Government administration purposes (such

L0:as a result of a Government reorganization, change in Government contracting officer or

L0:office) or for distinction in Government systems beyond physical address and Electronic

L0:Funds Transfer (EFT) data.

L0:PGI 204.203-271 Maintenance of the CAGE file.

L0:The following information and procedures are provided to assist contracting officers.

L1:(a) Assignment of CAGE codes for entities located in the United States or its

L0:outlying areas.

L1:(1) CAGE codes are assigned per legal entity at individual physical addresses

L0:(i.e., the same entity at the same physical address will not be assigned two or more CAGE codes). The only exception to this rule is when an entity has a registration in the SAM with multiple EFT addresses identified by multiple EFT indicators. In this case, each EFT indicator record is assigned a separate CAGE code to assist in correct processing of payments.

L1:(2) CAGE codes are not assigned to mailing addresses; a physical address

L0:must be provided. Neither U.S. Post Office boxes nor addresses that can be identified by the Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L0:as belonging to commercial mail and/or shipping provider locations will be accepted as physical addresses.

L1:(3) CAGE codes are not assigned to entities where the provided physical

L0:address is identified as a short-term virtual location, such as mobile offices, commercial packaging/mailling facilities (e.g., UPS stores, FedEx stores), mailbox rentals and

L0:certain business incubator locations if the majority of the operations are not performed

L0:from that incubator location. A sole proprietor, partnership, corporate entity, or other

L0:business organization must have a principal place of business, even if it is a home

L0:office, from where the business operates and record books are maintained. In that

L0:case, a home address of an officer of the company or board member would be required.

L1:(4) Individuals who register in SAM as sole proprietors are assigned CAGE

L0:codes. However, there may not be multiple CAGE codes assigned to the same location

L0:even if the entity names are differentiated by establishing a Limited Liability Corporation

L1:(LLC) (e.g., ?John Smith? and ?John Smith, LLC?). Additionally, the standard for the

L0:legal business name for sole proprietors, driven by Internal Revenue Service (IRS)

L0:standards, is the use of the individual?s personal name. Any additional name used for

L0:the sole proprietorship should be identified as a doing business as (DBA) name (e.g.,

L0: ?John Smith? is the legal business name, ?Smith Construction? is the DBA).

L1:(5) Authorized agents or brokers may be assigned CAGE codes for

L0:identification and processing purposes. A single CAGE code will be assigned to the

L0:agent or broker entity in addition to any codes assigned to the entities represented by

L0:the agent or broker (i.e., only one code will be assigned to a specific agent or broker

L0:entity regardless of the number of firms represented by that agent or broker). Codes

L0:will not be assigned to an agent or broker in care of the entity being represented or in

L0:any way infer that the agent or broker is a separate establishment bearing the name of

L0:the entity represented by the agent or broker.

L1:(6) There are some cases where both the owner of real property and a separate

L0:legal entity located at the same address as the real property each are required to have

L0:CAGE codes assigned. Examples are an office building owner and a tenant in the

L0:office building, or a landowner and a company using all or a portion of the land to farm.

L0:Additional cases exist where two separate entities may lease office space in the same

L0:building and both require CAGE codes. In both situations, the most specific physical

L0:address will be requested (i.e., specific additions of suites, floors, or room numbers) to

L0:distinguish between the two entities. If no more specific physical address is able to be

L0:identified, then documentation such as that listed in PGI 204.203-271(c)(3)(i)(A) will be

L0:requested to ensure that the entities are separate legal entities.

L1:(b) NCAGE code assignment for entities located outside the United States and its

L0:outlying areas managed via established NATO processes. SAM records received by

L0:the CAGE code system for validation must?

L1:(1) Include an NCAGE that has been received from the NATO Support

L0:Agency?s (NSPA?s) common database. The frequency with which local country code

L0:bureaus update the common database differs by the country. While most updates

L0:occur within a week, it can take up to a month to process. The CAGE code system will

L0:hold a validation request from SAM for three (3) days before rejecting it because the

L0:NCAGE does not appear to exist; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(2) Include a legal business name and physical address that matches the

L0:address on the NSPA database in order to be validated.

L1:(c) Changes of information on the CAGE code record.

L1:(1) The DLA CAGE Branch accepts written requests for changes to CAGE files

L0:from the following sources:

L1:(i) The company, organization, or sole proprietor entity identified by the

L0:code, if located in the United States or its outlying areas.

L1:(A) For CAGE records for which there is a corresponding registration in

L0:SAM, the entity must update and submit their SAM registration for validation. If the

L0:update includes a change to the entity?s legal business name, the additional steps at

L0:PGI 204.203-271(c)(3)(i)(C) will be necessary.

L1:(B) For CAGE records for which there is not a corresponding

L0:registration in SAM, the entity must use company letterhead to request a change to their

L0:CAGE code record. Submit requests for changes to CAGE files, when there is not a

L0:corresponding SAM record, at <https://cage.dla.mil>. The form may be emailed to

L0:cagemail@dla.mil, or a hard copy mailed to?

L0:DLA CAGE Branch

L0:74 Washington Avenue

L0:Battle Creek, MI 49037

L0:Telephone Number: toll-free 877-352-2255

L1:(ii) The Government contracting office on agency letterhead.

L1:(iii) The Government contract administration office on agency letterhead.

L1:(2) The DLA CAGE branch refers requests for changes to CAGE files from

L0:entities located outside the United States and its outlying areas as follows:

L1:(i) Entities located in a NATO or NATO-sponsored nation must contact their

L0:codification bureau. A listing of codification bureaus is found at

L0:<https://eportal.nspa.nato.int/ac135/about/contacts>.

L1:(ii) Entities located in a country that is neither in NATO nor sponsored by

L0:NATO must contact the NATO Support Agency (NSPA) at ncage@nspa.nato.int or

L0:request update after searching for their CAGE code at

L0:<https://eportal.nspa.nato.int/Codification/CageTool/home>.

L1:(3) When a request is received by DLA (either directly or via an entity-updated

L0:SAM registration submitted for validation) that includes a change to the entity?s legal

L0:business name as recorded within the CAGE file, the DLA team will contact the entity

L0:and process the request in accordance with the following procedure:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4

L0:Defense FAR Supplement (DFARS) Part 204

L1:(i) If the entity indicates that it does not hold any active federal Government

L0:contracts or any outstanding invoices on a physically complete contract, the entity will

L0:be asked to provide the following to DLA?

L1:(A) Signed legal documentation that confirms the formal name change

L0:and accurately reflects the change requested. Examples of acceptable documentation

L0:include: Articles of Incorporation, Articles of Organization, Bill of Sale, Asset Purchase

L0:Agreement, Secretary of State documentation, and Legal Merger or Acquisition

L0:documentation. DLA will not accept Internal Review Service (IRS) documentation or

L0:validation, as the IRS does not require the use of the legal business name. Sole

L0:proprietors will need to provide their filings for one of the following: Fictitious Business

L0:Name, Assumed Name, Trade Style Name, or Business License. DLA may use

L0:information found at state government websites in lieu of requesting documentation

L0:from the entity to confirm the name if it is available;

L0:any outstanding invoices on a physically complete contract; and

L1:(B) Written statement that they do not have active federal contracts or

L1:(C) After receipt of the documentation in (A) and (B), DLA will process

L0:the change. If the initial request was received from SAM as a part of the CAGE

L0:validation process, the processed change will be communicated back to SAM.

L1:(ii) If the entity indicates it does hold active Federal Government contracts,

L0:the entity will be asked to provide an indication in writing (may be provided by email) if

L0:the change in legal business name is a result of an acquisition, merger, or other

L0:situation related to recognition of a successor in interest to Federal Government

L0:contracts when contractor assets are transferred, which would necessitate a novation

L0:agreement be executed.

L1:(A) If the entity indicates that the change in legal business name is not

L0:a result of an acquisition merger or other situation as indicated above; the entity will be

L0:asked to confirm, in writing (may be provided by email) that it has advised each of the

L0:respective Government contracting officers necessary to process name-change

L0:agreements in accordance with FAR Subpart 42.9 requirements. Additionally, DLA will

L0:ask the entity to provide a copy of the change-of-name agreement (see FAR 42.9)

L0:signed by the entity. DLA will not process a change to the CAGE file without a copy of

L0:the signed change-of-name agreement, or confirmation from the cognizant Government

L0:contracting officer that processing a change to the CAGE file prior to the signed change-

L0:of-name agreement being completed is permissible. Note that the modification action

L0:that incorporates the change-of-name agreement into the contract is an acceptable

L0:method of providing the change-of-name agreement. However, if the modification is not

L0:able to be issued until the CAGE code information is updated, the change-of-name

L0:agreement itself will suffice.

L1:(B) If the entity indicates that the change in legal business name is a

L0:result of an acquisition, merger, or other situation as indicated above, DLA will request

L0:the entity to provide the Novation Agreement that has been executed by the cognizant

L0:Government contracting officer (see FAR 42.9) as well as the contact information for L0:that contracting officer. DLA may, based on the content of the Novation Agreement, L0:request that the contracting officer provide additional information regarding any L0:Government interest in whether CAGE codes are transferred to the successor in L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 4 L0:Defense FAR Supplement (DFARS) Part 204 L0:interest. DLA will not process a change to the CAGE file without a copy of the executed L0:Novation Agreement, or confirmation from the cognizant Government contracting officer L0:that processing a change to the CAGE file prior to the novation agreement being L0:completed is permissible. Note that the modification action that incorporates the L0:Novation Agreement into the contract is an acceptable method of providing the Novation L0:Agreement. However, if the modification is not able to be issued until the CAGE code L0:information is updated, the Novation Agreement itself will suffice. L0:from a novation, contracting officers must provide DLA the following information:

L1:(1) When contacted by DLA in relation to a name change resulting L0:transferring the original contractual rights and obligations (transferor).

L1:(i) Name(s), address(es), and code(s) of the contractor(s) L0:is the successor in interest (transferee).

L1:(ii) Name(s), address(es), and code(s) (if any) of the entity who L0:is retaining or receiving the rights to the technical data.

L1:(iii) Name(s), address(es), and code(s) (if any) of the entity who L0:agreement and especially the relationship of each entity to the other.

L1:(iv) Description of the circumstances surrounding the novation

L1:(2) Note that if the name change request was received as a part of L0:a registration from SAM update, and this situation applies, the update will be sent back L0:to SAM as rejected by CAGE validation if a copy of the executed Novation Agreement L0:or confirmation from the cognizant Government contracting officer is not available within L0:10 business days. The entity may resubmit the update in SAM with the changed legal L0:name at such point this information becomes available.

L1:(4) If the initial request was received from SAM as a part of the CAGE validation L0:process, a processed change will be communicated back to SAM.

L1:(5) Note that DLA does not follow the process outlined in (c)(3) of this section L0:for minor changes in the legal business name received from SAM during validation, L0:such as changing an "and" to "&"; inserting or removing abbreviations, such as changing L0:"Co." to "Company"; inserting or removing a space between words in an entity's name; L0:or inserting or removing acronyms or wording identifying a type of incorporated status, L0:such as "Inc." or "LLC". These changes are processed and communicated back to

L0:SAM.

PART 5

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

205.002 Policy

Status: active

L0:205.002 Policy.

205.002-70 Preparation and transmittal of synopses

Status: active

L0:205.002-70 Preparation and transmittal of synopses.

L1:(a) See PGI 205.002-70(a) for numbering synopses notices.

L1:(b) See PGI 205.002-70(b) for small business events.

205.101 Presolicitation Notice

Status: active

L0:205.101 Presolicitation Notice.

205.101-70 Availability of DoD solicitations

Status: active

L0:205.101-70 Availability of DoD solicitations.

L0:See PGI 205.101-70 for policy and procedures related to the Solicitation Module within

L0:the Procurement Integrated Enterprise Environment.

205.102 Paid Advertisements

Status: active

L0:205.102 Paid Advertisements.

L0:Heads of contracting activities are delegated authority to approve the publication of

L0:paid advertisements in newspapers.

205.103-70 Special Notices

Status: active

L0:205.103-70 Special Notices.

L0:See PGI 205.103-70 for instructions on the solicitation notice regarding timely

L0:definitization of equitable adjustments for change orders under construction contracts.

L2:(b)(i) See DFARS 207.107 for DoD-funded acquisitions that involve bundling.

205.201 Solicitation Notice

Status: active

L0:205.201 Solicitation Notice.

205.201-70 Timing

Status: active

L0:205.201-70 Timing.

L1:(a) Allow at least 45 days response time when requested by a qualifying or

L0:designated country source (as these terms are used in Part (as these terms are used in L0:Part 225) and the request is consistent with the Government's requirement.

L1:(b) When using competitive procedures, if a solicitation allowed fewer than 30 days

L0:for receipt of offers and resulted in only one offer, the contracting officer must resolicit,

L0:allowing an additional period of at least 30 days for receipt of offers, except as provided

L0:in 215.371-4 and 215.371-5.

205.301 General

Status: active

L0:205.301 General.

205.301-70 Synopsis of exceptions to domestic source requirements

Status: active

L0:205.301-70 Synopsis of exceptions to domestic source requirements.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 5

L0:Defense FAR Supplement (DFARS) Part 205

L1:(a) In accordance with 10 U.S.C. 4862(k), synopses through the Governmentwide

L0:point of entry (<https://www.sam.gov>), awards exceeding the simplified acquisition

L0:threshold that are for the acquisition of any clothing, fiber, yarn, or fabric items

L0:described in 225.7002-1(a)(1)(ii) through (x), if?

L1:(1) The Secretary concerned has determined that domestic items are not

L0:available, in accordance with 225.7002-2(b); or

L1:(2) The acquisition is for chemical warfare protective clothing, and the

L0:contracting officer has determined that an exception to domestic source requirements

L0:applies because the acquisition furthers an agreement with a qualifying country, in

L0:accordance with 225.7002-2(n).

L1:(b) The synopsis must be submitted in sufficient time to permit its publication

L0:not later than 7 days after contract award.

L1:(c) In addition to the information otherwise required in a synopsis of contract

L0:award, the synopsis must include one of the following statements as applicable:

L1:(1) ?The exception at DFARS 225.7002-2(b) applies to this acquisition,

L0:because the Secretary concerned has determined that items grown, reprocessed, reused,

L0:or produced in the United States cannot be acquired as and when needed in satisfactory

L0:quality and sufficient quantity at U.S. market prices.?

L1:(2) ?The exception at DFARS 225.7002-2(n) applies to this acquisition,

L0:because the contracting officer has determined that this acquisition of chemical warfare

L0:protective clothing furthers an agreement with a qualifying country identified in

L0:DFARS 225.003.?

205.302 Public Announcement

Status: active

L0:205.302 Public Announcement.

L1:(a) Requirement.

L1:(ii) Departments and agencies must report contract actions?

L1:(A) To the Office of the Assistant to the Secretary of Defense for Public

L0:Affairs

L1:(B) By the close of business the day before the date of the proposed award;

L1:(C) Using report control symbol DD-LA-(AR) 1279;

L1:(D) Including, as a minimum, the following?

L1:(1) Contract data. Contract number, modification number, or delivery

L0:order number, face value of this action, total cumulative face value of the contract,

L0:description of what is being bought, contract type, whether any of the buy was for

L0:foreign military sales (FMS) and identification of the FMS customer;

L0:number of offers received;

L1:(2) Competition information. Number of solicitations mailed and

L1:(3) Contractor data. Name, address, and place of performance (if

L0:significant work is performed at a different location);

L1:(4) Funding data. Type of appropriation and fiscal year of the funds,

L0:and whether the contract is multiyear (see FAR part 17); and

L1:(5) Miscellaneous data. Identification of the contracting office, the

L0:contracting office point of contact, known congressional interest, and the information

L0:release date.

L1:(iii) Departments and agencies, in accordance with department/agency

L0:procedures and concurrent with the public announcement, must provide information

L0:similar to that required by paragraph (a)(ii) of this section to members of Congress in

L0:whose State or district the contractor is located, and the work is to be performed.

205.701 Contract clause

Status: active

L0:205.701 Contract clause.

L0:Insert the clause at 252.205-7000, Provision of Information to Cooperative Agreement

L0:Holder, in solicitations and contracts, including solicitations and contracts using FAR

L0:part 12 procedures for the acquisition of commercial products and commercial services,

L0:except for solicitations and contracts solely for the acquisition of commercially available

L0:off-the-shelf items, that are expected to exceed \$1.5 million. This clause implements 10

L0:U.S.C. 4957.

252.205-7000 Provision of Information to Cooperative Agreement Holders

Status: active

L0:252.205-7000 Provision of Information to Cooperative Agreement Holders.

L0:As prescribed in 205.701, insert the following clause:

L0:PROVISION OF INFORMATION TO COOPERATIVE AGREEMENT HOLDERS

L0:(OCT 2024)

L1:(a) Definition. As used in this clause?

L0:Cooperative agreement holder? means a State or local government; a nonprofit

L0:organization; a tribal organization (as defined in section 4(c) of the Indian Self-

L0:Determination and Education Assistance Act (25 U.S.C. 5304(l)); or an economic

L0:enterprise (as defined in section 3(e) of the Indian Financing Act of 1974 (25 U.S.C.

L0:1452(e))) whether such economic enterprise is organized for profit or nonprofit purposes;

L0:which has an agreement with the Under Secretary of Defense for Acquisition and

L0:Sustainment to furnish procurement technical assistance to business entities (as

L0:defined in 10 U.S.C. 4951).

L1:(b) The Contractor shall provide cooperative agreement holders, upon their request,

L0:with a list of those appropriate employees or offices responsible for entering into

L0:subcontracts under defense contracts. The list shall include the business address,

L0:telephone number, and area of responsibility of each employee or office.

L1:(c) The Contractor need not provide the listing to a particular cooperative

L0:agreement holder more frequently than once a year.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 5

L0:Defense FAR Supplement (DFARS) Part 205

L0:PGI 205-PUBLICIZING CONTRACT ACTIONS

L0:PGI 205.0?SCOPE OF PART

L0:PGI 205.002 Policy.

L0:PGI 205.002-70 Preparation and transmittal of synopses.

L1:(a) Notice numbering.

L1:(1) For a particular procurement, when submitting notices at different stages of the

L0:acquisition (i.e., sources sought notice, pre-solicitation notice, award notice), ensure the

L0:solicitation number is entered exactly the same way in order to allow all to be retrieved when

L0:a search is performed.

L1:(2) Use only alpha-numeric characters in the solicitation and award number data

L0:elements in the Governmentwide point of entry (GPE) at <https://www.sam.gov>. Do not

L0:include hyphens, slashes, or other special characters.

L1:(b) Small business events. When advertising an event for small businesses, post a

L0:'special notice' notice type and ensure the "title" data field begins with "Small Business

L0:Event". This will enable the public to easily search the GPE using the small business event

L0:calendar on the website.]

L0:PGI 205.1?PRESOLICITATION

L0:PGI 205.101-70 Availability of DoD solicitations.

L1:(a) Policy. The Solicitation Module within the Procurement Integrated Enterprise

L0:Environment (PIEE), accessible at <https://piee.eb.mil>, provides DoD a secure and auditable

L0:mechanism to request and receive proposals or quotes from industry.

L1:(1) The Solicitation Module?

L1:(i) Provides a single face to industry for accessing DoD solicitations and

L0:attachments;

L1:(ii) Ensures time stamps for submissions are collected electronically, and

L0:records are retained in the contract file;

L1:(iii) Provides a means to upload very large and varied solicitation attachments;

L1:(iv) Provides the ability to restrict access to a limited group of identified offerors;

L0:and

L1:(v) Automatically posts the required synopsis or other presolicitation notice,

L0:solicitation, or combined synopsis and solicitation, as applicable, in the Governmentwide

L0:point of entry (GPE) (<https://www.sam.gov>) in accordance with FAR subpart 5.1.

L1:(b) Procedures. Effective October 1, 2026, unless an exception applies, contracting

L0:officers must use the Solicitation Module for publishing unclassified solicitations and for

L0:receiving offers and quotes.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 5

L0:Defense FAR Supplement (DFARS) Part 205

L1:(1) Exceptions.

L1:(i) The Solicitation Module is not required for?

L0:source;

L0:part 13;

L0:part 18; or

L1:(A) Requests for offers or quotes when limiting competition to a single

L1:(B) Actions using simplified acquisition procedures in accordance with FAR

L1:(C) Actions using emergency acquisition flexibilities in accordance with FAR

L1:(D) Actions to be awarded outside the United States.

L1:(ii) Do not use the Solicitation Module for the following types of actions until the

L0:capability is developed in the Module:

L1:(A) Broad agency announcements.

L1:(B) Requests for offers or quotes for task orders or delivery orders under

L0:indefinite-delivery type contracts, blanket purchase agreements, or basic ordering

L0:agreements.

L0:PGI 205.103 Special Notices.

L0:PGI 205.103-70 Definitization of equitable adjustments for construction.

L0:Notice regarding timely definitization of equitable adjustments for change orders under

L0:construction contracts. To obtain definitization data for requests for equitable

L0:adjustment to include in solicitations for construction contracts, access the Procurement

L0>Action Required Reporting Online Tools (PARROT)/Protest Tracker and REA module in

L0:the PIEE website at <https://piee.eb.mil>. Search the PARROT Protest Tracker and REA

L0:module for the applicable military department or defense agency data and?

L1:(a) If data exists, download the table and include it as an attachment to the

L0:solicitation notice in the GPE; or

L1:(b) If no data exists, then include the following statement in the Description section

L0:of the solicitation notice: "No data is available regarding the timely definitization of

L0:equitable adjustments for change orders under construction contracts." (See PGI

L0:236.211) for reporting data on definitization of equitable adjustments.)

L1:(c) Include a description of military department or defense agency policies or

L0:procedures, in addition to that outlined in FAR part 43, that apply to definitization of

L0:equitable adjustments for change orders under construction contracts. This description

L0:may be provided in a notice by including an address of an agency-specific, publicly

L0:available website containing this information.

L1:(d) If the military department or defense agency does not have agency-specific

L0:procedures, include the following statement: "There are no agency-specific policies or

L0:procedures that apply to the definitization of equitable adjustments for change orders under

L0:construction contracts."

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 5

L0:Defense FAR Supplement (DFARS) Part 205

L0:205.3?SYNOPSIS OF CONTRACT AWARDS

PART 6

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

206.000 Scope of part

Status: active

L0:206.000 Scope of part.

L0:For information on the various approaches that may be used to competitively fulfill DoD

L0:requirements, see PGI 206.000.

206.001 Applicability

Status: active

L0:206.001 Applicability.

L1:(b) As authorized by 10 U.S.C. 1091, contracts awarded to individuals using the

L0:procedures at 237.201-1(ii) are exempt from the competition requirements of FAR Part

L0:6.

206.001-70 Exception for prototype projects for follow-on production

Status: active

L0:206.001-70 Exception for prototype projects for follow-on production

L0:contracts.

L1:(a) Also excepted from this part are follow-on production contracts for products

L0:developed pursuant to the ?other transactions? authority of 10 U.S.C. 4022 for prototype

L0:projects, when the contracting officer receives sufficient documentation from the

L0:agreements officer issuing the other transaction agreement for the prototype project

L0:that?

L1:(1) The other transaction agreement included provisions for a follow-on

L0:production contract (10 U.S.C. 4022(f)(1)); and

L1:(2) Where applicable, the threshold at 10 U.S.C. 4022(a)(2)(C) and the

L0:requirements at 10 U.S.C. 4022(f)(2)(A) and (B) have been met.

L1:(b) See PGI 206.001-70 for additional guidance.

206.101 Full and open competition

Status: active

L0:206.101 Full and open competition.

206.101-70 Other competitive procedures

Status: active

L0:206.101-70 Other competitive procedures.

L1:(a) In lieu of FAR 6.101(b)(3)(ii), competitive selection of science and technology

L0:proposals resulting from a broad agency announcement with peer or scientific review,

L0:as described in 235.102(a) (10 U.S.C. 3012(2)).

L1:(b)Competitive selection of proposals based on a review by scientific, technological, or

L0:other subject-matter expert peers resulting from a commercial solutions opening as

L0:described in subpart 212.70 (10 U.S.C. 3458) is a competitive procedure.

L1:(c) The award of a contract as a prize resulting from a competitive selection of prize

L0:recipients for advanced technology achievements is a competitive procedure (10 U.S.C.

L0:4025(f)), when the solicitation is widely advertised, including through the

L0:Governmentwide point of entry (see FAR part 5). See PGI 206.101-70 for approval

L0:requirements.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 6

L0:Defense FAR Supplement (DFARS) Part 206

206.102 Full and open competition after excluding sources

Status: active

L0:206.102 Full and open competition after excluding sources.

206.102-1 Establishing or maintaining alternative sources

Status: active

L0:206.102-1 Establishing or maintaining alternative sources.

L1:(a) Agencies may use this authority to totally or partially exclude a particular

L0:source from a contract action.

L1:(b) The determination and findings (D&F) and the documentation supporting the

L0:D&F must identify the excluded source. Include the information at PGI 206.102-1(b),

L0:as applicable, and any other information that may be pertinent, in the supporting

L0:documentation.

L0:206.103. Other than full and open competition.

206.103-170 Only one responsible source and no other supplies or services

Status: active

L0:206.103-170 Only one responsible source and no other supplies or services

L0:will satisfy agency requirements.

L1:(a) Authority. Section 8059 of Pub. L. 101-511 and similar sections in subsequent

L0:defense appropriations acts, prohibit departments and agencies from entering into

L0:contracts for studies, analyses, or consulting services (see FAR Subpart 37.4) on the

L0:basis of an unsolicited proposal without providing for full and open competition,

L0:unless?

L1:(1) The head of the contracting activity, or a designee no lower than chief of the

L0:contracting office, determines that?

L1:(i) Following thorough technical evaluation, only one source is fully

L0:qualified to perform the proposed work;

L1:(ii) The unsolicited proposal offers significant scientific or technological

L0:promise, represents the product of original thinking, and was submitted in confidence;

L0:or

L1:(iii) The contract benefits the national defense by taking advantage of a

L0:unique and significant industrial accomplishment or by ensuring financial support to a

L0:new product or idea;

L1:(A) A civilian official of the DoD, whose appointment has been

L0:confirmed by the Senate, determines the award to be in the interest of national defense;

L0:or

L0:development or production.

L1:(B) The contract is related to improvement of equipment that is in

L1:(b) Application. This authority may be used for acquisitions of test articles and

L0:associated support services from a designated foreign source under the DoD Foreign

L0:Comparative Testing Program.

L1:(c) Application for brand-name descriptions. Notwithstanding FAR 6.103-1(d), in

L0:accordance with section 888(a) of the National Defense Authorization Act for Fiscal

L0:Year 2017 (Pub. L. 114-328), the justification and approval addressed in FAR 6.104 is

L0:required in order to use brand name or equal descriptions.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 6

L0:Defense FAR Supplement (DFARS) Part 206

L1:(d) Limitations. Follow the procedures at PGI 206.103-170 prior to soliciting a

L0:proposal without providing for full and open competition under this authority.

L1:(e) Application for proprietary specifications or standards. In accordance with

L0:section 888(a) of the National Defense Authorization Act for Fiscal Year 2017 (Pub. L.

L0:114-328), the justification and approval addressed in FAR 6.104 is required in order to

L0:use proprietary specifications and standards.

206.103-270 Unusual and compelling urgency

Status: active

L0:206.103-270 Unusual and compelling urgency.

L0:For guidance on circumstances under which use of this authority may be appropriate,

L0:see PGI 206.103-270).

206.103-370 Industrial mobilization; engineering, developmental, or research

Status: active

L0:206.103-370 Industrial mobilization; engineering, developmental, or research

L0:capability; or expert services.

L0:Insert the provision at 252.206-7000, Domestic Source Restriction, in all solicitations

L0:that are restricted to domestic sources under the authority of FAR 6.103-3.

206.103-4 International agreement

Status: active

L0:206.103-4 International agreement.

L1:(c) Limitations. Pursuant to 10 U.S.C. 3204(e)(4)(E), the justifications and

L0:approvals described in FAR 6.104 are not required if the head of the contracting activity

L0:prepares a document that describes the terms of an agreement or treaty or the written

L0:directions, such as a Letter of Offer and Acceptance, that have the effect of requiring the

L0:use of other than competitive procedures for the acquisition.

206.103-5 Authorized or required by statute

Status: active

L0:206.103-5 Authorized or required by statute.

L1:(c) Application. Agencies may use this authority to?

L1:(i) Acquire supplies and services from military exchange stores outside the

L0:United States for use by the armed forces outside the United States in accordance with

L0:10 U.S.C. 2424(a) and subject to the limitations of 10 U.S.C. 2424(b). The limitations of

L0:10 U.S.C. 2424(b)(1) and (2) do not apply to the purchase of soft drinks that are

L0:manufactured in the United States. For the purposes of 10 U.S.C. 2424, soft drinks

L0:manufactured in the United States are brand name carbonated sodas, manufactured in

L0:the United States, as evidenced by product markings.

L1:(ii) Acquire police, fire protection, airfield operation, or other community

L0:services from local governments at military installations to be closed under the

L0:circumstances in 237.7401 (section 2907 of Fiscal Year 1994 Defense Authorization Act

L0:(Pub. L. 103-160)).

L1:(iii) Acquire products and services under the Pilot Program to Incentivize

L0:Contracting with Employee-Owned Businesses (see subpart 270.1).

L1:(d) Limitations.

L1:(i) 10 U.S.C. 4141 precludes use of this exception for awards to colleges or

L0:universities for the performance of research and development, or for the construction of

L0:any research or other facility, unless?

L1:(A) The statute authorizing or requiring award specifically?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 6

L0:Defense FAR Supplement (DFARS) Part 206

L1:(1) States that the statute modifies or supersedes the provisions of 10

L1:(2) Identifies the particular college or university involved; and

L1:(3) States that award is being made in contravention of 10 U.S.C.

L0:U.S.C. 4141;

L0:4141(a); and

L1:(B) The Secretary of Defense provides Congress written notice of intent to

L0:award. The contract cannot be awarded until 180 days have elapsed since the date

L0:Congress received the notice of intent to award. Contracting activities must submit a

L0:draft notice of intent with supporting documentation through channels to the Principal

L0:Director, Defense Pricing, Contracting, and Acquisition Policy, Office of the Under

L0:Secretary of Defense (Acquisition and Sustainment).

L1:(ii) The limitation in paragraph (d)(i) of this section applies only if the statute

L0:authorizing or requiring award was enacted after September 30, 1989.

L1:(iii) Subsequent statutes may provide different or additional constraints on the

L0:award of contracts to specified colleges and universities. Contracting officers should

L0:consult legal counsel on a case-by-case basis.

206.103-7 Public interest

Status: active

L0:206.103-7 Public interest.

L0:For the defense agencies, the written determination to use this authority must be made

L0:by the Secretary of Defense.

206.104-70 Justification and Approval

Status: active

L0:206.104-70 Justification and Approval.

L1:(a) In accordance with section 823 of the National Defense Authorization Act for

L0:Fiscal Year 2020 (Pub. L. 116-92), no justification and approval is required for a sole-

L0:source contract under the 8(a) authority (15 U.S.C. 637(a)) for an amount not exceeding

L0:\$100 million.

L1:(b) In lieu of FAR 6.104-1(b), in accordance with section 823 of the National Defense

L0:Authorization Act for Fiscal Year 2020 (Pub. L. 116-92), contracting officers shall not

L0:award a sole-source contract under the 8(a) authority (15 U.S.C. 637(a)) for an amount

L0:exceeding \$100 million unless?

L1:(1) The contracting officer justifies the use of a sole-source contract in writing in

L0:accordance with FAR 6.104-1;

L1:(2) The justification is approved in accordance with 206.104-270(c); and

L1:(3) The justification and related information are made public after award in

L0:accordance with FAR 6.301.

206.104-71 Justification content

Status: active

L0:206.104-71 Justification content.

L2:(a)(1) In lieu of the threshold at FAR 6.104-2(a) Table 6-1, each justification shall

L0:include the information at FAR 6.104-1(a), except for sole-source 8(a) contracts over L0:\$100 million (see paragraph (d) of this section).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 6

L0:Defense FAR Supplement (DFARS) Part 206

L1:(2) Include the information required by PGI 206.104-71(b) in justifications

L0:citing the authority at FAR 6.103-1.

L1:(b) In lieu of the threshold at FAR 6.104-1(b), each justification for a sole-source 8(a)

L0:contract over \$100 million shall include the information at FAR 6.104-1(b).

206.104-72 Approval of justification

Status: active

L0:206.104-72 Approval of justification.

L1:(a) The Under Secretary of Defense (Acquisition and Sustainment) may delegate

L0:this authority to?

L1:(1) An Assistant Secretary of Defense; or

L1:(2) For a defense agency, an officer or employee serving in, assigned, or detailed

L0:to that agency who?

L1:(i) If a member of the armed forces, is serving in a rank above brigadier

L0:general or rear admiral (lower half); or

L1:(ii) If a civilian, is serving in a position with a grade under the General

L0:Schedule (or any other schedule for civilian officers or employees) that is comparable to

L0:or higher than the grade of major general or rear admiral.

L1:(b) For a non-competitive follow-on acquisition to a previous award for the same

L0:supply or service supported by a justification for other than full and open competition

L0:citing the authority at FAR 6.103-1, follow the procedures at PGI 206.104-270.

L1:(c) In accordance with section 823 of the National Defense Authorization Act for

L0:Fiscal Year 2020 (Pub. L. 116-92), the head of the procuring activity is the approval

L0:authority for a proposed sole-source 8(a) contract exceeding \$100 million. This authority

L0:may only be delegated to an officer or employee who?

L1:(1) If a member of the armed forces, is serving in a rank above brigadier general

L0:or rear admiral (lower half); or

L1:(2) If a civilian, is serving in a position with a grade under the General Schedule

L0:(or any other schedule for civilian officers or employees) that is comparable to or higher

L0:than the grade of major general or rear admiral.

206.301 Availability of the justification

Status: active

L0:206.301 Availability of the justification.

L0:See PGI 206.301 for further guidance on the requirements for preparing, obtaining

L0:approval, and posting justification and approval documents for contracts awarded

L0:using the authority of FAR 6.103.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 6

L0:Defense FAR Supplement (DFARS) Part 206

252.206-7000 Domestic Source Restriction

Status: active

L0:252.206-7000 Domestic Source Restriction.

L0:As prescribed at 206.103-370, insert the following provision:

L0:DOMESTIC SOURCE RESTRICTION

L0:(AUG 2023)

L0:This solicitation is restricted to domestic sources under the authority of 10 U.S.C.

L0:3204(a)(3). Foreign sources, except Canadian sources, are not eligible for award.

L0:(End of provision)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 6

L0:Defense FAR Supplement (DFARS) Part 206

L0:PGI 206-COMPETITION REQUIREMENTS

L0:PGI 206.0?SCOPE OF PART

L0:PGI 206.000 Scope of part.

L0:For information on various approaches that may be used to competitively fulfill DoD

L0:requirements, see the Office of the Under Secretary of Defense for Acquisition, Technology,

L0:and Logistics Guidelines for Creating and Maintaining a Competitive Environment for

L0:Supplies and Services in the Department of Defense

L0:(https://www.acq.osd.mil/asda/dpc/cp/policy/docs/comp/BBP_2-

L0:0_Comp_Guidelines_Update_(3_Dec_2014).pdf).

L0:PGI 206.001-70 Exception for prototype projects for follow-on production

L0:contracts.

L1:(b) The following documents provide additional information on other transaction

L0:agreements:

L1:(1) The DoD Other Transaction Guide

L0:(<https://www.acq.osd.mil/asda/dpc/cp/policy/other-policy-areas.html>); and

L1:(2) USD(A&S) Memorandum, titled Authority for Use of Other Transactions for

L0:Prototype Projects Under 10, United States Code, Section 4022, dated August 27, 2025

L0:([https://www.acq.osd.mil/asda/dpc/cp/policy/docs/pa/USD\(A&S\)_Updated_Delegation_o](https://www.acq.osd.mil/asda/dpc/cp/policy/docs/pa/USD(A&S)_Updated_Delegation_o)

L0:f_OT_Authority_Memo.pdf).

L0:PGI 206.1?PRESOLICITATION

L0:PGI 206.101 Full and open competition.

L0:PGI 206.101-70 Other competitive procedures.

L1:(c) Approval of the Under Secretary of Defense for Research and Engineering is

L0:required prior to the award of a contract resulting from a prize competition that exceeds

L0:\$10,000 (see 10 U.S.C. 4025(c)(3)). Obtain the approval from the program office and

L0:include it in the contract file.

L0:PGI 206.102?Full and open competition after excluding sources.

L0:PGI 206.102-1 Establishing or maintaining alternative sources.

L2:(b)(i) Include the following information, as applicable, and any other information that may

L0:be pertinent, in the supporting documentation:

L1:(A) The acquisition history of the supplies or services, including sources, prices,
L0:quantities, and dates of award.

L1:(B) The circumstances that make it necessary to exclude the particular source
L0:from the contract action, including?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 6

L0:Defense FAR Supplement (DFARS) Part 206

L0:the technical complexity and criticality of the supplies or services; and

L1:(1) The reasons for the lack of or potential loss of alternative sources; e.g.,

L1:(2) The current annual requirement and projected needs for the supplies or
L0:services.

L1:(C) Whether the existing source must be totally excluded from the contract

L0:action or whether a partial exclusion is sufficient.

L1:(D) The potential effect of exclusion on the excluded source in terms of loss of

L0:capability to furnish the supplies or services in the future.

L1:(E) When FAR 6.102-1(a)(1) is the authority, the basis for?

L1:(1) The determination of future competition; and

L1:(2) The determination of reduced overall costs. Include, as a minimum, a

L0:discussion of start-up costs, facility costs, duplicative administration costs, economic order
L0:quantities, and life cycle cost considerations.

L1:(F) When FAR 6.102-1(a)(2) is the authority?

L1:(1) The current annual and mobilization requirements for the supplies or

L0:services, citing the source of, or the basis for, the data;

L1:(2) A comparison of current production capacity with that necessary to meet

L0:mobilization requirements;

L1:(3) An analysis of the risks of relying on the present source; and

L1:(4) A projection of the time required for a new source to acquire the

L0:necessary facilities and achieve the production capacity necessary to meet mobilization

L0:requirements.

L1:(ii) The following is a sample format for Determination and Findings citing the

L0:authority of FAR 6.102-1(a):

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 6

L0:Defense FAR Supplement (DFARS) Part 206

L0:Determination and Findings

L0:Authority to Exclude a Source

L0:In accordance with 10 U.S.C. 3203(a)(1), it is my determination that the following contract

L0:action may be awarded using

L0:full and open competition after exclusion of

L0:_____*

L0:Findings

L0:(Describe requirement.)

L0:The exclusion of _____*

L0:Alternate 1: will increase or maintain competition for this requirement and is expected to

L0:result in a reduction of \$_____ in overall costs for the present and future acquisition

L0:of these supplies or services. (Describe how estimate was derived.)

L0:Alternate 2: is in the interest of national defense because it will result in having a supplier

L0:available for furnishing these supplies or services in case of a national emergency or
L0:industrial mobilization. (Explain circumstances requiring exclusion of source.)
L0:Alternate 3: is in the interest of national defense because it will result in establishment or
L0:maintenance of an essential engineering, research or development capability to be
L0:provided by an educational or other nonprofit institution or a federally funded research
L0:and development center. (Explain circumstances requiring exclusion of source.)
L0:* Identify source being excluded.
L0:PGI 206.103 Other than full and open competition.
L0:PGI 206.103-170 Only one responsible source and no other supplies or services will
L0:satisfy agency requirements.
L1:(d) Limitations. When utilizing the authority at FAR 6.103-1, the contracting officer shall
L0:post a request for information or a sources sought notice, and shall include the results of this
L0:inquiry in the justification required by FAR 6.104. This requirement to post may be waived by
L0:the Head of the Contracting Activity, or designee. The waiver authority may not be delegated
L0:lower than a general or flag officer or a member of the Senior Executive Service.
L0:PGI 206.103-270 Unusual and compelling urgency.
L0:The circumstances under which use of this authority may be appropriate include, but are not
L0:limited to, the following:
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 6
L0:Defense FAR Supplement (DFARS) Part 206
L1:(i) Supplies, services, or construction needed at once because of fire, flood,
L0:explosion, or other disaster.
L1:(ii) Essential equipment or repair needed at once to?
L1:(A) Comply with orders for a ship;
L1:(B) Perform the operational mission of an aircraft; or
L1:(C) Preclude impairment of launch capabilities or mission performance of
L0:missiles or missile support equipment.
L1:(iii) Construction needed at once to preserve a structure or its contents from
L0:damage.
L1:(iv) Purchase requests citing an issue priority designator under DoD Manual
L0:4140.01, Volume 5, DoD Supply Chain Materiel Management Procedures: Delivery of
L0:Material, of 4 or higher, or citing ?Electronic Warfare QRC Priority.?
L0:PGI 206.104-70 Justification and Approval.
L0:PGI 206.104-71 Justification content.
L0:Justifications citing the authority at FAR 6.103-1 to permit the use of other than full and
L0:open competition, shall--
L1:(1) Include the results of the request for information or sources sought notice posted
L0:in accordance with PGI 206.103-170 (unless the requirement to post has been waived); and
L1:(2) For non-competitive follow-on acquisitions of supplies or services previously
L0:awarded on a non-competitive basis, include a copy of the previous justification to assist the
L0:approval authority in determining whether the planned actions to remove any barriers to
L0:competition cited on the previous justification were completed.
L0:PGI 206.104-72 Approval of justification.
L0:For a non-competitive follow-on to a previous award for the same supply or service
L0:supported by a justification for other than full and open competition citing the authority at

L0:FAR 6.103-1?

L1:(a) The justification shall include a copy of the previous justification to assist the
L0:approval authority in determining whether the planned actions to remove any barriers to
L0:competition cited on the previous justification were completed; and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 6
L0:Defense FAR Supplement (DFARS) Part 206
L1:(b) The approval authority shall determine whether the planned actions were completed.
L0:If the actions were not completed, the justification for the follow-on acquisition shall be
L0:approved by the approval authority one-level above the approval authority for the previous
L0:justification (see FAR 6.104-2). If the previous justification was approved by the Senior
L0:Procurement Executive (SPE), the approval remains at the SPE level.
L0:PGI 206.301 Availability of the justification.
L0:See OUSD(AT&L) DPAP memorandum, ?Noncompetitive Contracts Awarded Based on
L0:Urgency,? dated April 13, 2015, for further guidance on the justification and approval
L0:documents required for contracts awarded using the unusual and compelling urgency
L0:exception.

PART 7

SUBPART 207.70 ? BUY-TO-BUDGET?ADDITIONAL QUANTITIES OF END

Status: active

L0:SUBPART 207.70?BUY-TO-BUDGET?ADDITIONAL QUANTITIES OF END

L0:ITEMS

207.102 Requirements

Status: active

L0:207.102 Requirements.

L2:(b)(1) See 212.102 regarding requirements for a written determination that the

L0:commercial product or commercial service definition has been met when using FAR

L0:part 12 procedures.

207.103-70 Agency-head responsibilities

Status: active

L0:207.103-70 Agency-head responsibilities.

L1:(a) Prepare written acquisition plans for?

L1:(1) Acquisitions for development, as defined in FAR 35.001, when the total price

L0:of all contracts for the acquisition program is estimated at \$10 million or more;

L1:(2) Acquisitions for production or services when the total price of all contracts

L0:for the acquisition program is estimated at \$50 million or more for all fiscal years or \$25

L0:million or more for any fiscal year; and

L1:(3) Any other acquisition considered appropriate by the department or agency.

L1:(b) Written plans are not required for final buy out or one-time buy acquisitions.

L0:The terms "final buy out" and "one-time buy" refer to a single contract that covers all

L0:known present and future requirements. This exception does not apply to a multiyear

L0:contract or a contract with options or phases.

L1:(c) Prepare written acquisition plans for acquisition programs meeting the

L0:thresholds of paragraphs (a) of this section on a program basis. Other acquisition plans

L0:may be written on either a program or an individual contract basis.

L1:(d) For procurement of conventional ammunition, as defined in DoDD 5160.65,

L0:Single Manager for Conventional Ammunition (SMCA), the SMCA will review the

L0:acquisition plan to determine if it is consistent with retaining national technology and

L0:industrial base capabilities in accordance with 10 U.S.C. 3204(a)(3) and section 806 of

L0:Public Law 105-261. The department or agency?

L1:(1) Must submit the acquisition plan to the address in PGI 207.103-70(d); and

L1:(2) Must not proceed with the procurement until the SMCA provides written

L0:concurrence with the acquisition plan. In the case of a non-concurrence, the SMCA will

L0:resolve issues with the Army Office of the Executive Director for Conventional

L0:Ammunition.

207.104-70 General procedures

Status: active

L0:207.104-70 General procedures.

L1:(a) In developing an acquisition plan, agency officials must take into account the

L0:requirement for scheduling and conducting a Peer Review in accordance with 201.170.

L1:(b) In addition to the requirements of FAR 7.104, planners must follow the

L0:procedures at PGI 207.104(b).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 7

L0:Defense FAR Supplement (DFARS) Part 207

207.106-70 Additional requirements for major systems

Status: active

L0:207.106-70 Additional requirements for major systems.

L1:(a) Contracting officers are prohibited by 10 U.S.C. 3208(d)(1) from requiring offers

L0:for development or production of major systems that would enable the Government to

L0:use technical data to competitively reprocore identical items or components of the

L0:system if the item or component were developed exclusively at private expense, unless

L0:the contracting officer determines that?

L1:(1) The original supplier of the item or component will be unable to satisfy

L0:program schedule or delivery requirements;

L1:(2) Proposals by the original supplier of the item or component to meet

L0:mobilization requirements are insufficient to meet the agency's mobilization needs; or

L1:(3) The Government is otherwise entitled to unlimited rights in technical data.

L1:(b) If the contracting officer makes a determination, under paragraphs (a)(1) and (2)

L0:of this section, for a competitive solicitation, 10 U.S.C. 3208(d)(2) requires that the

L0:evaluation of items developed at private expense be based on an analysis of the total

L0:value, in terms of innovative design, life-cycle costs, and other pertinent factors, of

L0:incorporating such items in the system.

L1:(c) In accordance with 10 U.S.C. 3774(a) and DoD policy requirements, acquisition

L0:plans for major weapon systems and subsystems of major weapon systems must?

L1:(1) Assess the long-term technical data and computer software needs of those

L0:systems and subsystems; and

L1:(2) Establish acquisition strategies that provide for the technical data

L0:deliverables and associated license rights needed to sustain those systems and

L0:subsystems over their life cycle. The strategy may include?

L1:(i) The development of maintenance capabilities within DoD; or

L1:(ii) Competition for contracts for sustainment of the systems or subsystems.

L1:(d) Assessments and corresponding acquisition strategies developed under

L0:paragraph (c) of this section must?

L1:(1) Be developed before issuance of a solicitation for the weapon system or

L0:subsystem;

L1:(2) In accordance with 10 U.S.C. 4328, to emphasize reliability and

L0:maintainability in weapon system design, ensure that reliability and

L0:maintainability are included in the performance attributes of the key performance

L0:parameters on sustainment during the development of capabilities requirements.

L0:For additional guidance see PGI 207.104-70;

L1:(3) Address the merits of including a priced contract option for the future

L0:delivery of technical data and computer software, and associated license rights, that

L0:were not acquired upon initial contract award;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 7

L0:Defense FAR Supplement (DFARS) Part 207

L1:(4) Address the potential for changes in the sustainment plan over the life cycle

L0:of the weapon system or subsystem; and

L1:(5) Apply to weapon systems and subsystems that are to be supported by

L0:performance-based logistics arrangements as well as to weapon systems and

L0:subsystems that are to be supported by other sustainment approaches.

L1:(e) See part 209 for policy applicable to acquisition strategies that consider the use

L0:of lead system integrators.

L2:(f)(1) In accordance with section 202 of the Weapon Systems Acquisition Reform

L0:Act of 2009 (Pub. L. 111-23), acquisition plans for major defense acquisition

L0:programs as defined in 10 U.S.C. 4201, must include measures that?

L1:(i) Ensure competition, or the option of competition, at both the prime

L0:contract level and subcontract level (at such tier or tiers as are appropriate) throughout

L0:the program life cycle as a means to improve contractor performance; and

L1:(ii) Document the rationale for the selection of the appropriate subcontract

L0:tier or tiers under paragraph (f)(1)(i) of this section, and the measures which will be

L0:employed to ensure competition, or the option of competition.

L1:(2) Measures to ensure competition, or the option of competition, may include,

L0:but are not limited to, cost-effective measures intended to achieve the following:

L1:(i) Competitive prototyping.

L1:(ii) Dual-sourcing.

L1:(iii) Unbundling of contracts.

L1:(iv) Funding of next-generation prototype systems or subsystems.

L1:(v) Use of modular, open architectures to enable competition for upgrades.

L1:(vi) Use of build-to-print approaches to enable production through multiple

L0:sources.

L1:(vii) Acquisition of complete technical data packages.

L1:(viii) Periodic competitions for subsystem upgrades.

L1:(ix) Licensing of additional suppliers.

L1:(x) Periodic system or program reviews to address long-term competitive

L0:effects of program decisions.

L1:(3) In order to ensure fair and objective ?make-or-buy? decisions by prime

L0:contractors, acquisition strategies and resultant solicitations and contracts must?

L1:(i) Require prime contractors to give full and fair consideration to qualified

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 7

L0:Defense FAR Supplement (DFARS) Part 207

L0:sources other than the prime contractor for the development or construction of major
L0:subsystems and components of major weapon systems;

L1:(ii) Provide for Government surveillance of the process by which prime

L0:contractors consider such sources and determine whether to conduct such development

L0:or construction in-house or through a subcontract; and

L1:(iii) Provide for the assessment of the extent to which the prime contractor

L0:has given full and fair consideration to qualified sources in sourcing decisions as a part

L0:of past performance evaluations.

L1:(4) Whenever a source-of-repair decision results in a plan to award a contract

L0:for the performance of maintenance and sustainment services on a major weapon

L0:system, to the maximum extent practicable and consistent with statutory requirements,

L0:the acquisition plan must prescribe that award will be made on a competitive basis

L0:after giving full consideration to all sources (including sources that partner or

L0:subcontract with public or private sector repair activities).

L1:(5) In accordance with 10 U.S.C. 4328, acquisition plans for engineering

L0:manufacturing and development and production of major systems defined in

L0:10 U.S.C. 3041(a) and 4202 and for major defense acquisition programs, must

L0:include performance measures that are developed using best practices for

L0:responding to the positive or negative performance of a contractor for the

L0:engineering and manufacturing development or production of a weapon system,

L0:including embedded software. At a minimum the contracting officer must?

L1:(i) Encourage the use of incentive fees and penalties as appropriate; and

L1:(ii) Allow the program manager or comparable requiring activity official

L0:exercising program management responsibilities, to base determinations of a

L0:contractor?s performance on reliability and maintainability data collected during the

L0:program. Such data collection and associated evaluation metrics must be described in

L0:detail in the contract; and to the maximum extent practicable, the data must be shared

L0:with appropriate contractor and Government organizations.

L1:(g) In accordance with section 815 of the National Defense Authorization Act for

L0:Fiscal Year 2009 (Pub. L. 110-417) and DoD policy requirements, acquisition plans for

L0:major weapons systems must include a plan for the preservation and storage of special

L0:tooling associated with the production of hardware for major defense acquisition

L0:programs through the end of the service life of the related weapons system. The plan

L0:must include the identification of any contract clauses, facilities, and funding required

L0:for the preservation and storage of such tooling. The Under Secretary of Defense for

L0:Acquisition and Sustainment (USD(A&S)) may waive this requirement if USD(A&S)

L0:determines that it is in the best interest of DoD.

L1:(h) When selecting contract type, see 234.004 (section 811 of the National Defense

L0:Authorization Act for Fiscal Year 2013 (Pub. L. 112-239)).

207.108 Additional requirements for teleworking

Status: active

L0:207.108 Additional requirements for teleworking.
L0:See PGI 207.108 for additional guidance concerning places of performance.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 7
L0:Defense FAR Supplement (DFARS) Part 207

207.170 Public-Private Competitions

Status: active

L0:207.170 Public-Private Competitions.
L0:See PGI 207.170 for policy on the Governmentwide moratorium and restrictions on
L0:public-private competitions conducted pursuant to Office of Management and Budget
L1:(OMB) Circular A-76.

207.171 Component breakout

Status: active

L0:207.171 Component breakout.
L0:See PGI 207.171 for component breakout policy and procedures.

207.172 Human research

Status: active

L0:207.172 Human research.
L0:Any DoD component sponsoring research involving human subjects?
L1:(a) Is responsible for oversight of compliance with 32 CFR Part 219, Protection of
L0:Human Subjects; and
L1:(b) Must have a Human Research Protection Official, as defined in the clause at
L0:252.235-7004, Protection of Human Subjects, and identified in the DoD component?s
L0:Human Research Protection Management Plan. This official is responsible for the
L0:oversight and execution of the requirements of the clause at 252.235-7004 and must be
L0:identified in the written acquisition plan.

207.401 Acquisition considerations

Status: active

L0:207.401 Acquisition considerations.
L0:If an equipment lease is expected to exceed 60 days, the requiring activity must provide
L0:the contracting officer with the justification supporting the decision to lease or
L0:purchase.

207.470 Statutory requirements

L0:207.470 Statutory requirements.

L1:(a) The contracting officer must not enter into any contract for the lease or charter

L0:of any vessel, aircraft, or combat vehicle, or any contract for services that would require

L0:the use of the contractor's vessel, aircraft, or combat vehicle, unless the Secretary of the

L0:military department concerned has satisfied the requirements of

L0:10 U.S.C. 3671-3677, when?

L1:(1) The contract will be a long-term lease or charter as defined in 10 U.S.C.

L0:3674(a)(1); or

L1:(2) The terms of the contract provide for a substantial termination liability as

L0:defined in 10 U.S.C. 3674(b). Also see PGI 207.470.

L1:(b) As required by 10 U.S.C. 3678, the contracting officer must not enter into any

L0:contract for any vessel, aircraft, or vehicle, through a lease, charter, or similar

L0:agreement with a term of 18 months or more, or extend or renew any such contract for a

L0:term of 18 months or more, unless the head of the contracting activity has?

L1:(1) Considered all costs of such a contract (including estimated termination

L0:liability); and

L1:(2) Determined in writing that the contract is in the best interest of the

L0:Government.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 7

L0:Defense FAR Supplement (DFARS) Part 207

L1:(c) Except as provided in paragraphs (a) and (b) of this section, the contracting

L0:officer may use leasing in the acquisition of commercial vehicles and associated

L0:equipment whenever the contracting officer determines that leasing of such vehicles is

L0:practicable and efficient (10 U.S.C. 3681).

207.471 Funding requirements

Status: active

L0:207.471 Funding requirements.

L1:(a) Fund leases in accordance with DoD Financial Management Regulation (FMR)

L0:7000.14-R, Volume 2A, Chapter 1.

L1:(b) DoD leases are either capital leases or operating leases. See FMR 7000.14-R,

L0:Volume 4, Chapter 6, Section 060206.

L1:(c) Use procurement funds for capital leases, as these are essentially installment

L0:purchases of property.

207.500 Scope of subpart

Status: active

L0:207.500 Scope of subpart.

L0:This subpart also implements 10 U.S.C. 4508.

207.503-70 Policy

Status: active

L0:207.503-70 Policy.

L1:(a) Agency Determinations. The written determination required by FAR 7.503(e)

L0:must?

L1:(1) Be prepared using DoD Instruction 1100.22, Guidance for Determining

L0:Workforce Mix; and

L1:(2) Include a determination that none of the functions to be performed are

L0:exempt from private sector performance, as addressed in DoD Instruction 1100.22.

L1:(b) Contracts for acquisition functions.

L1:(1) In accordance with 10 U.S.C. 4508, the head of an agency may enter into a

L0:contract for performance of the acquisition functions closely associated with inherently

L0:governmental functions that are listed at FAR 7.503(d) only if?

L1:(i) The contracting officer determines that appropriate military or civilian

L0:DoD personnel?

L1:(A) Cannot reasonably be made available to perform the functions;

L1:(B) Will oversee contractor performance of the contract; and

L0:the functions to be performed under the contract; and

L1:(C) Will perform all inherently governmental functions associated with

L1:(ii) The contracting officer ensures that the agency addresses any potential

L0:organizational conflict of interest of the contractor in the performance of the functions

L0:under the contract (see FAR Subpart 9.5).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 7

L0:Defense FAR Supplement (DFARS) Part 207

L1:(c) See related information at PGI 207.503-70.

207.7001 Definition

Status: active

L0:207.7001 Definition.

L0:End item, as used in this subpart, means a production product assembled, completed,

L0:and ready for issue or deployment.

207.7002 Authority to acquire additional quantities of end items

Status: active

L0:207.7002 Authority to acquire additional quantities of end items.

L0:10 U.S.C. 3069 authorizes DoD to use available funds for the acquisition of an end item

L0:at a higher quantity than the quantity specified in a law providing the funding for the

L0:specific end item, if the head of an agency determines that?

L1:(a) The agency has an established requirement for the end item that is expected to

L0:remain substantially unchanged throughout the period of the acquisition;

L1:(b) It is possible to acquire the higher quantity of the end item without additional

L0:funding because of production efficiencies or other cost reductions;
L1:(c) The amount of funds used for the acquisition of the higher quantity of the end
L0:item will not exceed the amount provided under that law for the acquisition of the end
L0:item; and
L1:(d) The amount provided under that law for the acquisition of the end item is
L0:sufficient to ensure that each unit of the end item acquired within the higher quantity is
L0:fully funded as a complete end item.

207.7003 Limitation

Status: active

L0:207.7003 Limitation.

L0:In accordance with 10 U.S.C. 3069, the acquisition of additional quantities is limited to
L0:not more than 10 percent of the quantity approved in the justification and approval of
L0:the use of other than competitive procedures prepared in accordance with FAR Part 6.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 7
L0:Defense FAR Supplement (DFARS) Part 207

L0:PGI 207?ACQUISITION PLANNING

L0:PGI 207.1?ACQUISITION PLANS

L0:PGI 207.103-70 Agency-head responsibilities.
L1:(d) Submit acquisition plans for procurement of conventional ammunition to?
L0:Joint Program Executive Office Armaments and Ammunition

L0:ATTN: SFAE-AA

L0:Building 1
L0:Picatinny Arsenal, NJ 07806-5000
L0:Telephone: Commercial 973-724-7101; DSN 880-7101
L0:Email: usarmy.pica.peo-ammo.list.zjs-section-806@army.mil
L0:PGI 207.104-70 General procedures.
L1:(b) For acquisitions covered by DFARS 207.103-70(a)(1) and (2), correlate the plan to
L0:the DoD Future Years Defense Program, applicable budget submissions, and the decision
L0:coordinating paper/program memorandum, as appropriate. It is incumbent upon the
L0:program manager to coordinate the plan with all those who have a responsibility for the
L0:development, management, or administration of the acquisition. The acquisition plan should
L0:be provided to the contract administration organization to facilitate resource allocation and
L0:planning for the evaluation, identification, and management of contractor performance risk.
L1:(1) Acquisition background and objectives.
L1:(i) Statement of need. Include?
L1:(A) Applicability of an acquisition decision document, a milestone decision
L0:review, or a service review, as appropriate.
L1:(B) The date approval for operational use has been or will be obtained. If
L0:waivers are requested, describe the need for the waivers.
L1:(C) A milestone chart depicting the acquisition objectives.
L1:(D) Milestones for updating the acquisition plan. Indicate when the plan will be
L0:updated. Program managers should schedule recurring reviews and updates to coincide

L0:with DAB reviews and the transition from one phase to another (e.g., system development L0:and demonstration to production and deployment).

L1:(E) Supplies and services. To determine if acquisitions for supplies or services

L0:are covered by DFARS 208.2, acquisition officials must use the AbilityOne Program

L0:Procurement List published by the Committee for Purchase From People Who Are Blind or

L0:Severely Disabled at http://www.abilityone.gov/procurement_list/index.html (see FAR Part

L0:8.2).

L1:(ii) Life-cycle cost. When acquiring tents or other temporary structures, consider

L0:total life-cycle costs in accordance with DFARS 215.101.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 7

L0:Defense FAR Supplement (DFARS) Part 207

L1:(iii) Acquisition streamlining. See DoDD 5000.1, The Defense Acquisition System,

L0:and guidebooks at <https://aaf.dau.edu/guidebooks/>.

L1:(2) Plan of action.

L1:(i) Competition. For information on various approaches that may be used to

L0:competitively fulfill DoD requirements, see the Office of the Under Secretary of Defense for

L0:Acquisition, Technology, and Logistics Actions to Improve Competition.

L1:(ii) Acquisition considerations. When supplies or services will be acquired by

L0:placing an order under a non-DoD contract (e.g., a Federal Supply Schedule contract),

L0:regardless of whether the order is placed by DoD or by another agency on behalf of DoD,

L0:address the method of ensuring that the order will be consistent with DoD statutory and

L0:regulatory requirements applicable to the acquisition and the requirements for use of DoD

L0:appropriated funds.

L1:(iii) Budgeting and funding. Include specific references to budget line items and

L0:program elements, where applicable, estimated production unit cost, and the total cost for

L0:remaining production.

L1:(iv) Product or service descriptions. For development acquisitions, describe the

L0:market research undertaken to identify commercial products or commercial services,

L0:commercial products or commercial services with modifications, or nondevelopmental items

L0:other than commercial products (see FAR part 10) that could satisfy the acquisition

L0:objectives.

L1:(v) Logistics considerations.

L1:(A) Describe the extent of integrated logistics support planning, including total

L0:life cycle system management and performance-based logistics. Reference approved

L0:plans. See PGI 245.103-73 for information on reporting requirements for Government

L0:inventory held by contractors under sustainment contracts in accordance with DoD Manual

L0:4140.01, Volume 6, DoD Supply Chain Materiel Management Procedures: Materiel Returns,

L0:Retention, and Disposition.

L2:(B)(1) Discuss the mission profile, reliability, and maintainability (R&M) program

L0:plan, R&M predictions, redundancy, qualified parts lists, parts and material qualification,

L0:R&M requirements imposed on vendors, failure analysis, corrective action and feedback,

L0:and R&M design reviews and trade-off studies. Also discuss corrosion prevention and

L0:mitigation plans.

L1:(2) See the Under Secretary of Defense Acquisition and Sustainment

L0:Policy Memo, dated January 31, 2019, entitled "Implementation of 10 U.S.C. 2443?"

L0:Sustainment Factors in Weapon System Design? and DoD Instruction 5000.02, Operation of L0:the Adaptive Acquisition Framework, policies and procedures.

L1:(C) For all acquisitions, see part 227 regarding technical data and associated

L0:license rights, and computer software and associated license rights. For acquisitions

L0:involving major weapon systems and subsystems of major weapon systems, see the

L0:additional requirements at DFARS 207.106-70.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 7

L0:Defense FAR Supplement (DFARS) Part 207

L1:(D) See DoD 4120.24-M, Defense Standardization Program (DSP) Policies and

L0:Procedures.

L1:(E) Describe the extent of Computer-Aided Acquisition and Logistics Support

L1:(CALS) implementation (see MIL-STD-1840C, Automated Interchange of Technical

L0:Information).

L1:(vi) Environmental and energy conservation objectives.

L1:(A) Discuss actions taken to ensure either elimination of or authorization to use

L0:class I ozone-depleting chemicals and substances (see DFARS part 223).

L1:(B) Ensure compliance with DoDI 4715.23, Integrated Recycling and Solid

L0:Waste Management.

L1:(vii) Other considerations.

L1:(A) National Technology and Industrial Base. For major defense acquisition

L0:programs, address the following (10 U.S.C. 4811(c))?

L1:(1) An analysis of the capabilities of the national technology and industrial

L0:base to develop, produce, maintain, and support such program, including consideration of

L0:the following factors related to foreign dependency (10 U.S.C. 4816)?

L1:(i) The availability of essential raw materials, special alloys, composite

L0:materials, components, tooling, and production test equipment for the sustained production

L0:of systems fully capable of meeting the performance objectives established for those

L0:systems; the uninterrupted maintenance and repair of such systems; and the sustained

L0:operation of such systems.

L1:(ii) The identification of items specified in paragraph (b)(19)(A)(1)(i) of

L0:this section that are available only from sources outside the national technology and

L0:industrial base.

L1:(iii) The availability of alternatives for obtaining such items from within

L0:the national technology and industrial base if such items become unavailable from sources

L0:outside the national technology and industrial base; and an analysis of any military

L0:vulnerability that could result from the lack of reasonable alternatives.

L0:result from foreign acquisition of firms in the United States.

L1:(iv) The effects on the national technology and industrial base that

L0:design and production of the systems to be procured under the program.

L1:(2) Consideration of requirements for efficient manufacture during the

L1:(3) The use of advanced manufacturing technology, processes, and

L0:systems during the research and development phase and the production phase of the

L0:program.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 7

L0:Defense FAR Supplement (DFARS) Part 207

L1:(4) To the maximum extent practicable, the use of contract solicitations that
 L0:encourage competing offerors to acquire, for use in the performance of the contract, modern
 L0:technology, production equipment, and production systems (including hardware and
 L0:software) that increase the productivity of the offerors and reduce the life-cycle costs.
 L0:advanced manufacturing technology production equipment and processes through?
 L1:(5) Methods to encourage investment by U.S. domestic sources in
 L1:(i) Recognition of the contractor's investment in advanced
 L0:manufacturing technology production equipment, processes, and organization of work
 L0:systems that build on workers' skill and experience, and work force skill development in the
 L0:development of the contract objective; and
 L0:production.
 L1:(ii) Increased emphasis in source selection on the efficiency of
 L0:processes specified by DoD.
 L1:(6) Expanded use of commercial manufacturing processes rather than
 L1:(7) Elimination of barriers to, and facilitation of, the integrated manufacture
 L0:of commercial products or commercial services and items being produced under DoD
 L0:contracts.
 L1:(8) Expanded use of commercial products or commercial services,
 L0:commercial products or commercial services with modifications, or to the extent commercial
 L0:products or commercial services that meet the agency's needs are not available,
 L0:nondevelopmental items other than commercial products (see FAR part 10).
 L1:(9) Acquisition of major weapon systems as commercial products (see
 L0:DFARS part 234).
 L1:(B) Industrial capability (IC).
 L1:(1) Provide the program's IC strategy that assesses the capability of the
 L0:U.S. industrial base to achieve identified surge and mobilization goals. If no IC strategy has
 L0:been developed, provide supporting rationale for this position.
 L1:(2) If, in the IC strategy, the development of a detailed IC plan was
 L0:determined to be applicable, include the plan by text or by reference. If the development of
 L0:the IC plan was determined not to be applicable, summarize the details of the analysis
 L0:forming the basis of this decision.
 L0:that are supported by logistics support plans, identify their impact on the IC plan.
 L1:(3) If the program involves peacetime and wartime hardware configurations
 L1:(C) Special considerations for acquisition planning for crisis situations. Ensure
 L0:that the requirements of DoD Instruction 1100.22, Policy and Procedures for Determining
 L0:Workforce Mix, are addressed. Also?
 L0:performed in crisis situations outside the United States and must develop appropriately
 L1:(1) Acquisition planning must consider whether a contract is likely to be
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 7
 L0:Defense FAR Supplement (DFARS) Part 207
 L0:detailed measures for inclusion in the contract. Combatant commanders establish
 L0:operational plans identifying essential services that must continue during crisis. DoDI
 L0:1100.22 requires Combatant Commanders to develop contingency plans if they have a
 L0:reasonable doubt that a contractor will continue to provide essential services during a
 L0:mobilization or crisis. When planning the acquisition, consider these operational plans and

L0:the resources available to carry out these plans.

L1:(2) During acquisition planning, identify which services have been declared

L0:so essential that they must continue during a crisis situation. A best practice is to create a

L0:separate section, paragraph, line, or other designation in the contract for these essential

L0:services so they can be tracked to an option or separate contract line item.

L1:(3) The requirements for the contractor written plan for continuity of

L0:essential services and the criteria for assessing the sufficiency of the plan will be

L0:determined/tailored for each acquisition of essential services by the contracting officer in

L0:coordination with the functional manager. The contractor's written plan, including

L0:prices/cost, shall be considered and evaluated in conjunction with the technical evaluation of

L0:offers.

L1:(4) Operational-specific contractor policies and requirements resulting from

L0:combatant commander ?integrated planning? will be described in operation plans (OPLAN),

L0:operation orders (OPORD) or separate annexes, and must be incorporated into applicable

L0:contracts. The plans may include rules for theater entry, country clearance, use of weapons,

L0:living on-base, etc. Therefore, the requiring activity is responsible for obtaining pertinent

L0:OPLANs, OPORDs, and annexes (or unclassified extracts) from the affected combatant

L0:command or military service element or component and for ensuring that the contract is

L0:consistent with the theater OPLAN and OPORD.

L1:(5) Ask the requiring activity to confirm that the appropriate personnel

L0:department has determined that inherently Governmental functions are not included in the

L0:contract requirements. If contract services will become inherently Governmental during a

L0:time of crisis, ensure that the contract states that work will be removed from the contract

L0:(temporarily or permanently) upon the occurrence of a triggering event (specified in the

L0:contract) or upon notice from the contracting officer that informs the contractor when its

L0:responsibility to perform affected duties will stop or restart. The contract should require the

L0:contractor to have a plan for restarting performance after the crisis ends.

L1:(6) If the combatant commander?s contingency plan requires military

L0:members to replace contractor employees during a crisis or contingency, acquisition

L0:planning must consider whether the contract should require the contractor to train military

L0:members to do that.

L1:(7) For acquisitions that have or may have some portion of delivery of items

L0:or performance in a foreign country, address considerations and requirements set forth in

L0:DFARS 225.770, Contracts requiring performance or delivery in a foreign country; 225.771,

L0:Contractor personnel supporting U.S. Armed Forces deployed outside the United States;

L0:225.772, Antiterrorism/force protection, and 225.773, Contract administration in support of

L0:contingency operations.

L0:of contingency operations.

L1:(8) Contract administration planning considerations for contracts in support

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 7

L0:Defense FAR Supplement (DFARS) Part 207

L1:(i) When delegation of contract administration services to a contracting

L0:officer located in a different geographic area to support a contract for the delivery of items or

L0:performance in a joint operations area will or may occur, address the resourcing of contract

L0:administration and oversight personnel, including administrative contracting officers, quality

L0:assurance specialists, contract administrators, property administrators, and contracting L0:officers? representatives.

L1:(ii) If contract delivery of items or performance in support of

L0:contingency operations will or may occur in an austere, uncertain, or hostile environment,

L0:address the need for logistics support of contract administration and oversight personnel.

L1:(iii) When some portion of contract delivery of items or performance

L0:may take place in a contingency area, address pertinent combatant commander or joint

L0:force commander requirements and considerations for contract administration. Such

L0:requirements will be maintained on the particular combatant commander operational

L0:contract support website, <https://www.acq.osd.mil/asda/dpc/cp/cc/aor.html>.

L1:(iv) When contracts are awarded for performance in a contingency

L0:area, the head of the contracting activity is responsible for planning to ensure that

L0:contingency contracts will be closed in a timely manner considering personnel turnover and

L0:preaward, contract administration, and other contracting workload. A plan for reachback

L0:support of contract closeouts should be included, if required.

L1:(9) For contracts that will incorporate the clause at DFARS 252.225-7040,

L0:Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States, in

L0:accordance with DFARS 225.771-5(a), or otherwise require accountability for contractor

L0:personnel, consider the requirements and resources necessary for both the Government

L0:and contractor to keep the Synchronized Predeployment and Operational Tracker (SPOT)

L0:current in accordance with the SPOT business rules available at the website provided at

L0:<https://www.acq.osd.mil/asds/log/cso/ocs/spot.html> .

L1:(10) For contracts that will incorporate the clause at FAR 52.222-50,

L0:Combating Trafficking in Persons, consider the requirements and resources necessary for

L0:both the Government and contractor to implement and maintain compliance with Federal

L0:and DoD trafficking in persons requirements, including PGI 222.1703.

L1:(D) Software and software maintenance. When acquiring software or software

L0:maintenance, see DFARS 212.

L1:(E) Procurement Support for Theater Security Cooperation Efforts. When

L0:planning procurement support for theater security cooperation efforts (e.g., military

L0:exercises/training, base operations, weapons procurement, aviation fuels, construction, or

L0:the President's Emergency Plan for Aids Relief projects), planners should be aware that

L0:Department of State (DoS) missions (embassies and consulates) do not provide such

L0:contracting support; however, these missions can provide support for routine, non-complex

L0:services and supplies used by U.S. Government personnel, even if funded with foreign-

L0:military-sales case money (see DFARS PGI 225.78). Planners shall take the following

L0:steps:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 7

L0:Defense FAR Supplement (DFARS) Part 207

L1:(1) Become familiar with DoS Cable 11 STATE 030953, ?Procurement

L0:Roles and Responsibilities - General Services Officer and DoD Personnel? (see also

L0:DFARS PGI 225.78).

L0:on past practices in the particular location for which procurement support is to be requested;

L1:(2) Request general guidance from the combatant-command coordinator

L1:(3) Contact the Defense Attaché Office and/or General Services Officer

L0:(normally the embassy/consulate contracting officer) at the DoS mission at least 60 days

L0:prior to the requirement, or as soon as practicable, to obtain information on-

L0:mission procurement support;

L1:(i) Availability of, and procedures associated with, requesting DoS

L1:(ii) Local sources of supplies and services; and

L0:specific theater security cooperation procurement requirements.

L1:(iii) Business payment practices to support DoD procurement of

L1:(4) Ascertain whether payment support is available from the DoS mission.

L1:(5) When DoS contracting support is determined to be unavailable or not

L0:allowed, ensure the party of DoD military and/or civilians deploying to support the particular

L0:Theater Security Cooperation effort either pre-arranges DoD contracting support through

L0:reach-back, if possible, or if necessary, includes a warranted contracting officer, field-

L0:ordering officer, or credit-card holder, and, if necessary, a paying agent.

L0:PGI 207.108 Additional requirements for teleworking.

L0:Contracting officers should avoid specifying unnecessarily restrictive places of performance,

L0:to the maximum extent practicable, in accordance with section 875 of the National Defense

L0:Authorization Act for Fiscal Year 2022.

L0:PGI 207.170 Public-Private competitions.

L0:PGI 207.170 Policy.

L0:See the memorandum from Assistant Secretary of Defense (Manpower and Reserve Affairs)

L0:dated April 21, 2016, entitled "Update on OMB Circular A-76 Public-Private Competition

L0:Prohibitions-FY 2016," regarding the ongoing Governmentwide moratorium and

L0:restrictions on public-private competitions. The restrictions prohibit the conversion of any

L0:work currently performed (or designated for performance) by civilian personnel to contract

L0:perform

L0:PGI 207.171 Component breakout.

L0:DoD policy is to break out components of weapons systems or other major end items under

L0:certain circumstances.

L1:(a) When it is anticipated that a prime contract will be awarded without adequate price

L0:competition, and the prime contractor is expected to acquire any component without

L0:adequate price competition, the agency must break out that component if?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 7

L0:Defense FAR Supplement (DFARS) Part 207

L1:(1) Substantial net cost savings probably will be achieved; and

L1:(2) Breakout action will not jeopardize the quality, reliability, performance, or timely

L0:delivery of the end item.

L1:(b) Even when either or both the prime contract and the component will be acquired with

L0:adequate price competition, the agency must consider breakout of the component if

L0:substantial net cost savings will result from?

L1:(1) Greater quantity acquisitions; or

L1:(2) Such factors as improved logistics support (through reduction in varieties of

L0:spare parts) and economies in operations and training (through standardization of design).

L1:(c) Breakout normally is not justified for a component that is not expected to exceed \$1

L0:million for the current year's requirement.

L0:PGI 207.171-1 Procedures.

L1:(1) Responsibility.

L1:(i) Agencies are responsible for ensuring that?

L1:(A) Breakout reviews are performed on components meeting the criteria in PGI

L0:207.171(a) and (b);

L1:(B) Components susceptible to breakout are earmarked for consideration in

L0:future acquisitions;

L1:(C) Components earmarked for breakout are considered during requirements

L0:determination and appropriate decisions are made; and

L1:(D) Components are broken out when required.

L1:(ii) The program manager or other official responsible for the material program

L0:concerned is responsible for breakout selection, review, and decision.

L1:(iii) The contracting officer or buyer and other specialists (e.g., small business

L0:specialist, engineering, production, logistics, and maintenance) support the program

L0:manager in implementing the breakout program.

L1:(2) Breakout review and decision.

L1:(i) A breakout review and decision includes?

L1:(A) An assessment of the potential risks to the end item from possibilities such

L0:as delayed delivery and reduced reliability of the component;

L1:(B) A calculation of estimated net cost savings (i.e., estimated acquisition

L0:savings less any offsetting costs); and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 7

L0:Defense FAR Supplement (DFARS) Part 207

L1:(C) An analysis of the technical, operational, logistics, and administrative factors

L0:involved.

L1:(ii) The decision must be supported by adequate explanatory information, including

L0:an assessment by the end item contractor when feasible.

L1:(iii) The following questions should be used in the decision process:

L1:(A) Is the end item contractor likely to do further design or engineering effort on

L0:the component?

L1:(B) Is a suitable data package available with rights to use it for Government

L0:acquisition? (Note that breakout may be warranted even though competitive acquisition is

L0:not possible.)

L1:(C) Can any quality control and reliability problems of the component be

L0:resolved without requiring effort by the end item contractor?

L1:(D) Will the component require further technical support (e.g., development of

L0:specifications, testing requirements, or quality assurance requirements)? If so, does the

L0:Government have the resources (manpower, technical competence, facilities, etc.) to

L0:provide such support? Or, can the support be obtained from the end item contractor (even

L0:though the component is broken out) or other source?

L1:(E) Will breakout impair logistics support (e.g., by jeopardizing standardization

L0:of components)?

L1:(F) Will breakout unduly fragment administration, management, or performance

L0:of the end item contract (e.g., by complicating production scheduling or preventing

L0:identification of responsibility for end item failure caused by a defective component)?

L1:(G) Can breakout be accomplished without jeopardizing delivery requirements

L0:of the end item?

L1:(H) If a decision is made to break out a component, can advance acquisition

L0:funds be made available to provide the new source any necessary additional lead time?

L1:(I) Is there a source other than the present manufacturer capable of supplying

L0:the component?

L1:(J) Has the component been (or is it going to be) acquired directly by the

L0:Government as a support item in the supply system or as Government-furnished equipment

L0:in other end items?

L1:(K) Will the financial risks and other responsibilities assumed by the

L0:Government after breakout be acceptable?

L1:(L) Will breakout result in substantial net cost savings? Develop estimates of

L0:probable savings in cost considering all offsetting costs such as increases in the cost of

L0:requirements determination and control, contracting, contract administration, data package

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 7

L0:Defense FAR Supplement (DFARS) Part 207

L0:purchase, material inspection, qualification or preproduction testing, ground support and test

L0:equipment, transportation, security, storage, distribution, and technical support.

L1:(iv) If answers to the questions reveal conditions unfavorable to breakout, the

L0:program manager should explore whether the unfavorable conditions can be eliminated.

L0:For example, where adequate technical support is not available from Government

L0:resources, consider contracting for the necessary services from the end item contractor or

L0:other qualified source.

L1:(3) Records.

L1:(i) The contracting activity shall maintain records on components reviewed for

L0:breakout. Records should evidence whether the components?

L1:(A) Have no potential for breakout;

L1:(B) Have been earmarked as potential breakout candidates; or

L1:(C) Have been, or will be, broken out.

L1:(ii) The program manager or other designated official must sign the records.

L1:(iii) Records must reflect the facts and conditions of the case, including any

L0:assessment by the contractor, and the basis for the decision. The records must contain the

L0:assessments, calculations, and analyses discussed in paragraph 2 of this section, including

L0:the trade-off analysis between savings and increased risk to the Government because of

L0:responsibility for Government-furnished equipment.

L0:PGI 207.4?EQUIPMENT ACQUISITION

L0:PGI 207.470 Statutory requirements.

L0:Contracting officers should obtain additional information on the definition of ?substantial

L0:termination liability? by contacting their respective legal adviser.

L0:PGI 207.5?INHERENTLY GOVERNMENTAL FUNCTIONS

L0:PGI 207.503-70 Policy.

L0:Section 804 of the National Defense Authorization Act for Fiscal Year 2005 (Public Law 108-

L0:375) limits contractor performance of acquisition functions closely associated with inherently

L0:Governmental functions.

PART 8

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

208.103 Mandatory sources of supplies

Status: active

L0:208.103 Mandatory sources of supplies.

L2:(a)(1) See PGI 208.103 for information on available items in DoD?s property

L0:inventories.

208.105 Contractor Use of Government supply sources

Status: active

L0:208.105 Contractor Use of Government supply sources.

208.105-2 Contractor permitted use of Government supply sources

Status: active

L0:208.105-2 Contractor permitted use of Government supply sources.

L1:(c) Contract Clause. Insert the clause at 252.251-7999, Ordering From Government

L0:Supply Sources, in solicitations and contracts which include the clause at FAR 52.208-

L0:10, Government Supply Sources.

208.105-70 Fuel funded by the Defense Working Capital Fund

Status: active

L0:208.105-70 Fuel funded by the Defense Working Capital Fund

L1:(a) If fuel is funded by the Defense Working Capital Fund, contracting officers

L0:may authorize contractors to use Defense Logistics Agency Energy as a source of

L0:fuel in performance of other than cost-reimbursement contracts. When providing

L0:this authorization to contractors, follow the procedures at PGI 208.105-70.

L1:(b) The contracting officer may also authorize the contractor to use the DD Form

L0:1155 when requisitioning from the Department of Veterans Affairs.

L1:(c) The authorizing agency is also responsible for promptly considering requests

L0:of the DoD supply source for authority to refuse to honor requisitions from a

L0:contractor that is indebted to DoD and has failed to pay proper invoices in a timely

L0:manner.

208.201 General

Status: active

L0:208.201 General.

L0:Follow the procedures at PGI 208.201 when placing orders with central nonprofit

L0:agencies.

208.270 Evaluation and award

Status: active

L0:208.270 Evaluation and award.

L0:Evaluate service contracts awarded to Abilityone participating nonprofit agencies

L0:when the contract value exceeds the threshold at DFARS 215.104-70(g).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

208.301-70 Acquisition of items for which Federal Prison Industries has a

Status: active

L0:208.301-70 Acquisition of items for which Federal Prison Industries has a

L0:significant market share.

L1:(a) Scope. This section implements 10 U.S.C. 3905.

L1:(b) Definition. As used in this section?

L0:Item for which Federal Prison Industries (FPI) has a significant market share,?

L0:means an item for which FPI's share of the DoD market for the federal supply class

L0:including that item is greater than 5 percent, as determined by DoD in consultation

L0:with the Office of Federal Procurement Policy. A list of the federal supply classes of

L0:items for which FPI has a significant market share is maintained at

L0:<https://www.acq.osd.mil/asda/dpc/cp/policy/other-policy-areas.html>.

L1:(c) Policy.

L1:(1) When acquiring an item for which FPI has a significant market share?

L1:(i) Acquire the item using?

L1:(A) Competitive procedures (e.g., the procedures in FAR 6.101, the set-

L0:aside procedures in FAR Subpart 19.1, or competition conducted in accordance with

L0:FAR Part 13); or

L1:(B) The fair opportunity procedures in FAR 16.507-2, if placing an order

L0:under a multiple award delivery-order contract; and

L1:(ii) Include FPI in the solicitation process, consider a timely offer from FPI,

L0:and make an award in accordance with the policy at FAR 8.304(b)(2) and 8.305.

L1:(2) When acquiring an item for which FPI does not have a significant market

L0:share, acquire the item in accordance with the policy at FAR 8.3.

208.305 Evaluation and award

L0:208.305 Evaluation and award.

L0:Evaluate service contracts awarded to Federal Prison Industries, Inc., when the

L0:contract value exceeds the threshold at DFARS 215.104-70(g).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

208.470 General

L0:208.470 General.

L2:(a)(1) If only one offer is received in response to an order exceeding the simplified

L0:acquisition threshold that is placed on a competitive basis, follow the procedures at

L0:215.271.

L1:(2) When placing orders for supplies or services in amounts exceeding the

L0:simplified acquisition threshold, departments and agencies must comply with the

L0:review, approval, and reporting requirements established in accordance with subpart

L0:217.6.

L1:(3) When a schedule lists both foreign and domestic items that will meet the

L0:needs of the requiring activity, the ordering office must apply the procedures of part 225

L0:and FAR part 25, Foreign Acquisition. When purchase of an item of foreign origin is

L0:specifically required, the requiring activity must furnish the ordering office sufficient

L0:information to permit the determinations required by part 225 and FAR part 25 to be

L0:made.

L1:(4) Insert the provisions at 252.215-7007, Notice of Intent to Resolicit, and

L0:252.215-7008, Only One Offer, as prescribed at 215.371-6 and 215.408(3), respectively.

L1:(b) Include an evaluation factor regarding supply chain risk (see part 239) when

L0:acquiring information technology, whether as a service or as a supply, that is a covered

L0:system, is a part of a covered system, or is in support of a covered system, as defined in

L0:part 239.

L1:(c) See 215.101-2-70 for the limitations and prohibitions on the use of the lowest

L0:price technically acceptable source selection process, which are applicable to orders

L0:placed under Federal Supply Schedules.

L1:(d) Contracting officers must make a determination of fair and reasonable pricing

L0:when using the Federal Supply Schedules (FSS). The FSS prices of supplies and fixed-

L0:price services, and rates for services offered at hourly rates, were determined to be fair

L0:and reasonable for the purpose of establishing the schedule contract. The ordering

L0:activity contracting officer is responsible for making a determination of fair and

L0:reasonable pricing for individual orders, blanket purchase agreements (BPA), and

L0:orders under BPAs, using the proposal analysis techniques at 15.404-1. Do not rely on

L0:the determination of price reasonableness for the FSS schedule contract. The

L0:complexity and circumstances of each acquisition should determine the level of detail of

L0:the analysis required.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L1:(e) See 217.7801 for the prohibition on the use of reverse auctions for personal

L0:protective equipment and aviation critical safety items.

L1:(f) See 204.7603 for procedures on the required use of the Supplier Performance

L0:Risk System (SPRS) risk assessments.

L1:(1) Ensure SPRS assessments of price risk and supplier risk are considered as a

L0:part of the award decision.

L1:(2) When placing an order with a schedule contractor for an end product

L0:identified by a material identifier that is available as described at PGI 204.7603, and

L0:item risk was not previously considered during award of the schedule contract, consider

L0:SPRS assessments of item risk in the award decision.

L1:(3) Insert the provision at 252.204-7024, Notice on the Use of the Supplier

L0:Performance Risk System, as prescribed in 204.7604 to the extent permitted by the

L0:FSS.

L1:(g) Follow the procedures at PGI 208.470 for?

L1:(1) An order or BPA exceeding the simplified acquisition threshold that is a

L0:follow-on to an order or BPA for the same supply or service previously issued based on a

L0:limiting sources justification; and

L1:(2) Ordering from schedules.

208.7000 Scope of subpart

Status: active

L0:208.7000 Scope of subpart.

L0:This subpart prescribes policy and procedures for acquisition of items for which

L0:contracting responsibility is assigned to a department, agency or the General Services

L0:Administration under the Integrated Material Management (IMM) Program.

L0:Contracting responsibility is assigned through the IMM in DoDM 4140.26, DoD

L0:Integrated Materiel Management Manual for Consumable Items, DoD 4140.68,

L0:Integrated Materiel Management of Nonconsumable Items and are listed in the FLIS

L0:Technical Procedures - Volume 13.

208.7001 Definitions

Status: active

L0:208.7001 Definitions.

L0:For purposes of this subpart?

L0:?"Acquiring department?" means the department, agency, or General Services

L0:Administration which has contracting responsibility under the IMM Program.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L0:?"Integrated materiel management?" means the materiel management responsibility

L0:that is integrated to eliminate duplicate national materiel management functions
L0:for those consumable items that are used by more than one DoD Component or
L0:participating U.S. Government civil agency. The integrated management
L0:responsibility is assigned to an activity or agency for the DoD and participating U.S.
L0:Government civil agencies. IMM responsibilities include requirements
L0:determination, procurement, distribution, materiel overhaul and repair, and
L0:disposal of materiel.
L0:Requiring department? means the department or agency which has the
L0:requirement for an item.

208.7002 Assignment authority

Status: active

L0:208.7002 Assignment authority.
L0:See PGI 208.7002 for assignment authority under the IMM.

208.7002-1 Acquiring department responsibilities

Status: active

L0:208.7002-1 Acquiring department responsibilities.
L0:See PGI 208.7002-1 for the acquiring department?s responsibilities.

208.7002-2 Requiring department responsibilities

Status: active

L0:208.7002-2 Requiring department responsibilities.
L0:See PGI 208.7002-2 for the requiring department?s responsibilities.

208.7003 Applicability

Status: active

L0:208.7003 Applicability.

208.7003-1 Assignments under integrated materiel management

Status: active

L0:208.7003-1 Assignments under integrated materiel management.
L1:(a) Acquire all items assigned for integrated materiel management (IMM) from the
L0:IMM manager except?
L1:(1) Items purchased under circumstances of unusual and compelling urgency as
L0:defined in FAR 6.103-2. After such a purchase is made, the requiring activity must
L0:send one copy of the contract and a statement of the emergency to the IMM manager;

L1:(2) Items for which the IMM manager assigns a supply system code for local
 L0:purchase or otherwise grants authority to purchase locally; or
 L1:(3) When purchase by the requiring activity is in the best interest of the
 L0:Government in terms of the combination of quality, timeliness, and cost that best meets
 L0:the requirement. This exception does not apply to items?
 L1:(i) Critical to the safe operation of a weapon system;
 L1:(ii) With special security characteristics; or
 L1:(iii) Which are dangerous (e.g., explosives, munitions).
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8
 L0:Defense FAR Supplement (DFARS) Part 208
 L1:(4) When consumable items determined to be unique to a weapon system which
 L0:have been included in a Performance Based Logistics (PBL) or Contractor Logistics
 L0:Support (CLS) contract.
 L1:(b) Follow the procedures at PGI 208.7003-1(b) when an item assigned for IMM is to
 L0:be acquired by the requiring department in accordance with paragraph (a)(3) of this
 L0:subsection.

208.7003-2 Exceptions

Status: active

L0:208.7003-2 Exceptions.
 L0:Requiring departments must submit to the acquiring department all contracting
 L0:requirements for items assigned for IMM, except?
 L1:(a) Items obtained through the sources in FAR 8.103;
 L1:(b) Items obtained under 208.7003-1(a);
 L1:(c) Requirements not in excess of the simplified acquisition threshold, when
 L0:contracting by the requiring department is in the best interest of the Government;
 L1:(d) In an emergency. When an emergency purchase is made, the requiring
 L0:department must send one copy of the contract and a statement of the emergency to the
 L0:contracting activity of the acquiring department;
 L1:(e) Requirements for which the IMM delegates contracting authority to the
 L0:requiring department;
 L1:(f) Items in a research and development stage (as described in FAR Part 35). Under
 L0:this exception, the military departments may contract for research and development
 L0:requirements, including quantities for testing purposes and items undergoing in-service
 L0:evaluation (not yet in actual production, but beyond prototype). Generally, this
 L0:exception applies only when research and development funds are used.
 L1:(g) Items peculiar to nuclear ordnance material where design characteristics or test-
 L0:inspection requirements are controlled by the Department of Energy (DoE) or by DoD to
 L0:ensure reliability of nuclear weapons.
 L1:(1) This exception applies to all items designed for and peculiar to nuclear
 L0:ordnance regardless of agency control, or to any item which requires test or inspection
 L0:conducted or controlled by DoE or DoD.
 L1:(2) This exception does not cover items used for both nuclear ordnance and

L0:other purposes if the items are not subject to the special testing procedures.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L1:(h) Items to be acquired under FAR 6.103-6 (national security requires limitation of
L0:sources);

L1:(i) Items directly related to a major system and which are design controlled by and

L0:acquired from either the system manufacturer or a manufacturer of a major subsystem;

L1:(j) Items subject to rapid design changes, or to continuous redesign or modification

L0:during the production and/or operational use phases, which require continual contact

L0:between industry and the requiring department to ensure that the item meets the

L0:requirements:

L1:(1) This exception permits the requiring department to contract for items of

L0:highly unstable design. For use of this exception, it must be clearly impractical, both

L0:technically and contractually, to refer the acquisition to the acquiring department.

L0:Anticipation that contracting by negotiation will be appropriate, or that a number of

L0:design changes may occur during contract performance is not in itself sufficient reason

L0:for using this exception.

L1:(2) This exception also applies to items requiring compatibility testing, provided

L0:such testing requires continual contact between industry and the requiring department;

L1:(k) Containers acquired only with items for which they are designed;

L1:(l) One-time buy of a noncataloged item.

L1:(1) This exception permits the requiring departments to contract for a

L0:nonrecurring requirement for a noncataloged item. This exception could cover a part or

L0:component for a prototype which may be stock numbered at a later date.

L1:(2) This exception does not permit acquisitions of recurring requirements for an

L0:item, based solely on the fact that the item is not stock numbered, nor may it be used to

L0:acquire items which have only slightly different characteristics than previously

L0:cataloged items.

208.7004 Procedures

Status: active

L0:208.7004 Procedures.

L0:Follow the procedures at PGI 208.7004 for processing IMM requirements.

208.7005 Military interdepartmental purchase requests

Status: active

L0:208.7005 Military interdepartmental purchase requests.

L0:Follow the procedures at?

L1:(a) PGI 253.208-1 when using DD Form 448, Military Interdepartmental Purchase

L0:Request; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L1:(b) PGI 253.208-2 when using DD Form 448-2, Acceptance of MIPR.

208.7100 Authorization

Status: active

L0:208.7100 Authorization.

L0:NASA is authorized by Pub. L. 85-568 to use the acquisition services, personnel, equipment, and facilities of DoD departments and agencies with their consent, with or without reimbursement, and on a similar basis to cooperate with the departments/agencies in the use of acquisition services, equipment, and facilities.

208.7101 Policy

Status: active

L0:208.7101 Policy.

L0:Departments and agencies must cooperate fully with NASA in making acquisition services, equipment, personnel, and facilities available on the basis of mutual agreement.

208.7102 Procedures

Status: active

L0:208.7102 Procedures.

L0:Follow the procedures at PGI 208.7102 when contracting or performing services for NASA.

208.7300 General

Status: active

L0:208.7300 General.

L0:See PGI 208.73 for guidance when using Government-owned precious metals.

208.7301 Contract clause

Status: active

L0:208.7301 Contract clause.

L1:(a) Insert the clause at 252.208-7000, Intent to Furnish Precious Metals as

L0:Government-Furnished Material, in all solicitations and contracts except?

L1:(1) When the contracting officer has determined that the required precious

L0:metals are not available from Defense Supply Center Philadelphia;

L1:(2) When the contracting officer knows that the items being acquired do not

L0:require precious metals in their manufacture; or

L1:(3) For acquisitions at or below the simplified acquisition threshold.
L1:(b) To make the determination in paragraph (a)(1) of this section, the contracting
L0:officer must consult with the end item inventory manager and comply with the
L0:procedures in Chapter 11, DoD 4160.21-M, Defense Materiel Disposition Manual.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8
L0:Defense FAR Supplement (DFARS) Part 208

208.7400 Scope of subpart

Status: active

L0:208.7400 Scope of subpart.
L0:This subpart prescribes policy and procedures for acquisition of commercial software
L0:and software maintenance, including software and software maintenance that is
L0:acquired?
L1:(a) As part of a system or system upgrade, where practicable;
L1:(b) Under a service contract;
L1:(c) Under a contract or agreement administered by another agency (e.g., under an
L0:interagency agreement); or
L1:(d) Under a Federal Supply Schedule contract or blanket purchase agreement
L0:established in accordance with FAR 8.401.

208.7401 Definitions

Status: active

L0:208.7401 Definitions.
L0:As used in this subpart?
L0:?Enterprise software agreement? means an agreement or a contract that is used to
L0:acquire designated commercial software or related commercial software services such as
L0:software maintenance.
L0:?Enterprise Software Initiative? means an initiative led by the DoD Chief
L0:Information Officer to develop processes for DoD-wide software asset management.
L0:?Software maintenance? means services normally provided by a software company
L0:as standard services at established catalog or market prices, e.g., the right to receive
L0:and use upgraded versions of software, updates, and revisions.

208.7402 General

Status: active

L0:208.7402 General.
L1:(a) Departments and agencies must fulfill requirements for commercial software
L0:and commercial software services, such as software maintenance, in accordance with
L0:the DoD Enterprise Software Initiative (ESI) (see <https://www.esi.mil/>). ESI promotes
L0:the use of enterprise software agreements (ESAs) with contractors that allow DoD to

L0:obtain favorable terms and pricing for commercial software and commercial software
L0:services. ESI does not dictate the products or services to be acquired.
L1:(b) Include an evaluation factor regarding supply chain risk (see Part 239)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8
L0:Defense FAR Supplement (DFARS) Part 208
L0:when acquiring information technology, whether as a service or as a supply, that is a
L0:covered system, is a part of a covered system, or is in support of a covered system, as
L0:defined in Part 239.

208.7403 Acquisition procedures

Status: active

L0:208.7403 Acquisition procedures.
L0:Follow the procedures at PGI 208.7403 when acquiring commercial software and
L0:commercial software services.

208.7501 Authorization

Status: active

L0:208.7501 Authorization.
L1:(a) Insurance requirements.
L1:(1) See FAR 28.307-2(c) for policy on contractor insurance.
L1:(2) See FAR 28.308 for policy on self-insurance.
L1:(3) See FAR 31.205-19 for allowability of insurance costs.
L1:(b) Insert the clause at 252.251-7001, Use of Interagency Fleet Management System
L1:(IFMS) Vehicles and Related Services, in solicitations and contracts which include are
L0:authorized to use an interagency fleet.

252.208-7000 Intent to Furnish Precious Metals as Government-Furnished

Status: active

L0:252.208-7000 Intent to Furnish Precious Metals as Government-Furnished
L0:Material.

L0:As prescribed in 208.7301(a), use the following clause:

L0:INTENT TO FURNISH PRECIOUS METALS AS GOVERNMENT-FURNISHED

L0:MATERIAL (DEC 1991)

L1:(a) The Government intends to furnish precious metals required in the manufacture
L0:of items to be delivered under the contract if the Contracting Officer determines it to be
L0:in the Government's best interest. The use of Government-furnished silver is
L0:mandatory when the quantity required is one hundred troy ounces or more. The
L0:precious metal(s) will be furnished pursuant to the Government Furnished Property
L0:clause of the contract.
L1:(b) The Offeror shall cite the type (silver, gold, platinum, palladium, iridium,

L0:rhodium, and ruthenium) and quantity in whole troy ounces of precious metals required
 L0:in the performance of this contract (including precious metals required for any first
 L0:article or production sample), and shall specify the national stock number (NSN) and
 L0:nomenclature, if known, of the deliverable item requiring precious metals.

L0:Quantity

L0:Deliverable Item

L0:(NSN and Nomenclature)

L0:Precious Metal*

L0: _____

L0: _____

L0: _____

L0: _____

L0: _____

L0: _____

L0: _____

L0:*If platinum or palladium, specify whether sponge or granules are required.

L1:(c) Offerors shall submit two prices for each deliverable item which contains

L0:precious metals--one based on the Government furnishing precious metals, and one

L0:based on the Contractor furnishing precious metals. Award will be made on the basis

L0:which is in the best interest of the Government.

L1:(d) The Contractor agrees to insert this clause, including this paragraph (d), in

L0:solicitations for subcontracts and purchase orders issued in performance of this

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L0:contract, unless the Contractor knows that the item being purchased contains no

L0:precious metals.

L0:(End of clause)

252.208-7999 Ordering From Government Supply Sources. (DEVIATION 2026-

Status: active

L0:252.208-7999 Ordering From Government Supply Sources. (DEVIATION 2026-

L0:O0049)

L0:As prescribed in 208.105-2(c), use the following clause:

L0:ORDERING FROM GOVERNMENT SUPPLY SOURCES ((DEVIATION 2026-O0049)

L0:(MAR 2026)

L1:(a) When placing orders under Federal Supply Schedules, Personal Property

L0:Rehabilitation Price Schedules, or Enterprise Software Agreements, the Contractor

L0:shall follow the terms of the applicable schedule or agreement and authorization.

L0:Include in each order:

L1:(1) A copy of the authorization (unless a copy was previously furnished to the

L0:Federal Supply Schedule, Personal Property Rehabilitation Price Schedule, or

L0:Enterprise Software Agreement contractor).

L1:(2) The following statement:

L0:Any price reductions negotiated as part of an Enterprise Software Agreement

L0:issued under a Federal Supply Schedule contract shall control. In the event of any

L0:other inconsistencies between an Enterprise Software Agreement, established as a

L0:Federal Supply Schedule blanket purchase agreement, and the Federal Supply

L0:Schedule contract, the latter shall govern.

L1:(3) The completed address(es) to which the Contractor's mail, freight, and

L0:billing documents are to be directed.

L1:(b) When placing orders under nonmandatory schedule contracts and requirements

L0:contracts, issued by the General Services Administration (GSA) Office of Information

L0:Resources Management, for automated data processing equipment, software and

L0:maintenance, communications equipment and supplies, and teleprocessing services, the

L0:Contractor shall follow the terms of the applicable contract and the procedures in

L0:paragraph (a) of this clause.

L1:(c) When placing orders for Government stock on a reimbursable basis, the

L0:Contractor shall?

L1:(1) Comply with the requirements of the Contracting Officer's authorization,

L0:using FEDSTRIP or MILSTRIP procedures, as appropriate;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L1:(2) Use only the GSA Form 1948-A, Retail Services Shopping Plate, when

L0:ordering from GSA Self-Service Stores;

L1:(3) Order only those items required in the performance of Government

L0:contracts; and

L1:(4) The Contractor shall pay invoices from Government supply sources

L0:promptly.

L1:(A) The Contractor shall pay purchases made from DoD supply sources

L0:within 30 days of the date of a proper invoice.

L1:(B) The Contractor shall annotate each invoice with the date of receipt.

L1:(C) For the purposes of computing interest for late Contractor payments,

L0:the Government's invoice is deemed to be a demand for payment in accordance with the

L0:Interest clause of this contract.

L1:(D) If the Contractor fails to pay or pays late that may also result in the

L0:DoD supply source refusing to honor the requisition (see DFARS 208-105-2(a)(4)(ii)) or

L0:in the Contracting Officer terminating the Contractor's authorization to use DoD supply

L0:sources.

L1:(1) In the event the Contracting Officer decides to terminate the

L0:authorization due to the Contractor's failure to pay in a timely manner, the Contracting

L0:Officer will provide the Contractor with prompt written notice of the intent to terminate

L0:the authorization and the basis for such action.

L1:(2) The Contractor shall have 10 days after receipt of the Government's

L0:notice in which to provide additional information as to why the authorization should not

L0:be terminated.

L1:(3) Any such termination does not provide the Contractor with an

L0:excusable delay for failure to perform or complete the contract in accordance with the

L0:terms of the contract, and the Contractor shall be solely responsible for any increased
L0:costs.

L1:(d) When placing orders for Government stock on a non-reimbursable basis, the
L0:Contractor shall?

L1:(1) Comply with the requirements of the Contracting Officer's authorization;
L0:and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L1:(2) When using electronic transactions to submit requisitions on a
L0:nonreimbursable basis only, place orders by authorizing contract number using the
L0:Defense Logistics Management System (DLMS) Supplement to Federal
L0:Implementation Convention 511R, Requisition; and acknowledge receipts by
L0:authorizing contract number using the DLMS Supplement 527R, Receipt, Inquiry,
L0:Response and Material Receipt Acknowledgement.

L1:(e) Only the Contractor may request authorization for subcontractor use of
L0:Government supply sources. The Contracting Officer will not grant authorizations for
L0:subcontractor use without approval of the Contractor.

L1:(f) Government invoices will be submitted to the Contractor's billing address, and
L0:Contractor payments shall be sent to the Government remittance address specified
L0:below:

L0:Contractor's Billing Address (include point of contact and telephone number):

L0:Government Remittance Address (include point of contact and telephone
L0:number):

L0:(End of clause)

252.251-7001 Use of Interagency Fleet Management System (IFMS) Vehicles

Status: active

L0:252.251-7001 Use of Interagency Fleet Management System (IFMS) Vehicles
L0:and Related Services.

L0:As prescribed in 208.7501(b), use the following clause:

L0:USE OF INTERAGENCY FLEET MANAGEMENT SYSTEM (IFMS) VEHICLES AND L0:RELATED SERVICES (DEC 1991)

L1:(a) The Contractor, if authorized use of IFMS vehicles, shall submit requests for five
L0:or fewer vehicles and related services in writing to the appropriate General Services
L0:Administration (GSA) Regional Customer Service Bureau, Attention: Motor Equipment
L0:Activity. Submit requests for more than five vehicles to GSA headquarters: General
L0:Services Administration, FTM, Washington, DC 20406. Include the following in each
L0:request:

L1:(1) Two copies of the agency authorization to obtain vehicles and related
L0:services from GSA.

L1:(2) The number of vehicles and related services required and the period of use.

L1:(3) A list of the Contractor's employees authorized to request vehicles and
L0:related services.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L1:(4) A list of the makes, models, and serial numbers of Contractor-owned or

L0:leased equipment authorized to be serviced.

L1:(5) Billing instructions and address.

L1:(b) The Contractor should make requests for any unusual quantities of vehicles as

L0:far in advance as possible.

L1:(c) The Contractor shall establish and enforce suitable penalties for employees who

L0:use or authorize the use of Government vehicles for other than performance of

L0:Government contracts.

L1:(d) The Contractor shall assume, without the right of reimbursement from the

L0:Government, the cost or expense of any use of IFMS vehicles and services not related to

L0:the performance of the contract.

L1:(e) Only the Contractor may request authorization for subcontractor use of IFMS

L0:vehicles. The Contracting Officer will not grant authorization for subcontractor use

L0:without approval of the Contractor.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L0:PGI 208?REQUIRED SOURCES OF SUPPLIES AND SERVICES

L0:PGI 208.1?PRESOLICITATION

L0:PGI 208.103 Mandatory sources of supplies.

L3:(a)(1)(i) The DLA Disposition Services Reutilization, Transfer, or Donation (RTD) Office

L0:maintains the DoD-wide inventory of available property. Information on available property in

L0:the DoD-wide inventory can be obtained by?

L0:drmsrtd@dla.mil; or

L1:(A) Sending a request to the DLA Disposition Services RTD Office at

L0:https://amps.dla.mil/oim.

L1:(B) Searching the inventory on the DLA Disposition Service RTD website at

L1:(ii) Information on gaining access to and searching for available property on the

L0:RTD website can be found at

L0:https://www.dla.mil/DispositionServices/DDSR/PropertySearch/PropertySearch/.

L1:(iii) General information on DLA Disposition Service?s RTD Program can be

L0:found at https://www.dla.mil/DispositionServices/Offers/Reutilization.aspx.

L0:PGI 208.105 Contractor use of Government supply sources.

L0:PGI 208.105-70?Fuel funded by the Defense Working Capital Fund

L2:(a)(4) When authorizing contractors to use Defense Logistics Agency (DLA) Energy as a

L0:source of fuel in performance of other than cost-reimbursement contracts, contracting

L0:officers must?

L1:(i) Comply with the requirements of FAR 8.105-2 and DFARS 208.105-2

L0:including the execution of a letter of authorization;

L1:(ii) Include FAR clause 52.208-10, Government Supply Sources, and DFARS

L0:clause 252.208-7999, Ordering From Government Supply Sources, in the contract;

L1:(iii) Obtain a current DLA Energy Fuel Purchase Authorization (FPA) from DLA

L0:Energy by emailing dlaenergyfpa@dla.mil;
 L1:(iv) Email to DLA Energy, at dlaenergyfpa@dla.mil, a copy of the?
 L1:(A) Completed FPA;
 L1:(B) Letter of authorization from the contracting officer; and
 L0:DFARS clause 252.208-7999 in the underlying contract.
 L1:(C) Documentation showing the inclusion of FAR clause 52.208-10 and
 L1:(v) Upon receipt of the documentation in paragraph (a)(4)(iv)(A)-(C) of this
 L0:section, DLA Energy will work with all parties to review the FPA for accuracy and completion.
 L0:If approved, DLA Energy will assign a Department of Defense Activity Address Code for the
 L0:fuel sales.
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8
 L0:Defense FAR Supplement (DFARS) Part 208
 L1:(vi) Use a format substantially the same as the following when authorizing
 L0:contractor use of Government Supply Sources. Specify the terms of the purchase, including
 L0:contractor acceptance of any Government materiel, payment terms, and the addresses
 L0:required by paragraph (e) of the clause at 252.208-7999, Ordering from Government Supply
 L0:Sources.

L0:AUTHORIZATION TO PURCHASE FROM GOVERNMENT SUPPLY SOURCES

L0:(SAMPLE FORMAT)

L0:_____ (Contractor's Name)
 L0:_____ (Contractor's Address)
 L0:_____ (CAGE Code)
 L0:1. You are hereby authorized to use Government sources in performing Contract No.
 L0:_____ for [insert the requiring activity?s DoD Activity Address Code
 L1:(DoDAAC)], as follows: [Insert applicable purchasing authority given to the contractor.]
 L0:2.a. Purchase Orders Under Federal Supply Schedules or Personal Property
 L0:Rehabilitation Price Schedules. Place orders in accordance with the terms and conditions of
 L0:the attached Schedule(s) and this authorization. Attach a copy of this authorization to the
 L0:order (unless a copy was previously furnished to the Federal Supply Schedule or Personal
 L0:Property Rehabilitation Price Schedule contractor). Insert the following statement in the
 L0:order:
 L0:This order is placed under written authorization from
L0: _____
 L0:dated _____ (*_____). In
 L0:the event of any inconsistency between the terms
 L0:and conditions of this order and those of the Federal
 L0:Supply Schedule or Personal Property Rehabilitation
 L0:Price Schedule contract, the latter will govern.
 L0:b. Requisitioning from the General Services Administration (GSA) or the Department of
 L0:Defense (DoD). Place orders in accordance with this authorization and, as appropriate, the
 L0:following:
 L1:(1) Federal Standard Requisitioning and Issue Procedures (FEDSTRIP) (GSA
 L0:FEDSTRIP Operating Guide: FPMR 101-26.2 (41 CFR 101-26.2)). Copies are available
 L0:from the Superintendent of Documents, Government Printing Office, Washington, DC

L0:20402; telephone (202) 512-1800; facsimile (202) 512-2250.

L1:(2) Military Standard Requisitioning and Issue Procedures (MILSTRIP) (DoD

L0:4000.25-1-M). Copies are available from the Defense Logistics Agency, Administrative

L0:Support Center East, ATTN: ASCE-WS, 14 Dedication Drive, Suite 3, POD 43, New

L0:Cumberland, PA 17070-5011; telephone 1-888-DLA-PUBS(352-7827), or (717) 770-6034;

L0:facsimile (717) 770-4817.

L0:c. Enterprise Software Initiative. Place orders in accordance with the terms and

L0:conditions of the attached Enterprise Software Agreement(s), or instructions for obtaining

L0:commercial software or software maintenance from Enterprise Software Initiative

L0:inventories, and this authorization. Attach a copy of this authorization to the order (unless a

L0:copy was previously furnished to the Enterprise Software Agreement contractor). Insert the

L0:following statement in the order:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L0:This order is placed under written authorization from _____

L0:dated _____ (* _____). In the event of any inconsistency between the terms

L0:and conditions of this order, and those of the Enterprise Software Agreement, the latter will

L0:govern.

L0:3. [Insert other provisions as necessary.]

L0:4. This authority is not transferable or assignable.

L0:5. The DoD Activity Address Directory (DoDAAD) (DLM 4000.25, Volume 6,

L0:Chapter 2) Activity Address Code** to which this Authorization applies is _____.

L0:6. This Authorization expires _____.

L0: _____

L0:(Contracting Officer)

L0:* Insert ?a copy of which is attached,? ?a copy of which you have on file,? or other

L0:suitable language, as appropriate.

L0:** The requiring activity assumes responsibility for monitoring and controlling all activity

L0:address codes used in the letters of authority.

L0:PGI 208.105-270 Contracting office responsibilities.

L1:(a) The DoD Activity Address Code (DoDAAC) assigned in accordance with

L0:paragraph 5 of the authorization format in PGI 208.105-2 must be assigned to the

L0:contractor for authorization to use Government supply sources only for the contract

L0:number cited in paragraph 1 of the authorization format.

L1:(b) The authorization to use Government sources of supply is unique to each

L0:contract and must not be transferred or assigned to any other contractor or contract.

L0:Therefore, the same DoDAAC must not be assigned to any other contract number

L0:during the period of performance for the contract. After 24 months has lapsed beyond

L0:contract closeout, the DoDAAC may be reused for another contract.

L0:PGI 208.2?ACQUISITION FROM ABILITYONE PARTICIPATING NONPROFIT

L0:AGENCIES

L0:PGI 208.201 General.

L0:Ordering offices may use DD Form 1155, Order for Supplies or Services, to place orders

L0:with central nonprofit agencies.

L0:PGI 208.4?ORDERING UNDER THE FEDERAL SUPPLY SCHEDULE

L0:PGI 208.470 General.

L1:(1) When ordering from schedules, ordering offices?

L1:(i) May use DD Form 1155, Order for Supplies or Services, to place orders for?

L1:(A) Commercial products or commercial services at or below the simplified

L0:acquisition threshold; and

L1:(B) Other than commercial products or commercial services at any dollar value.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L1:(ii) Must use SF 1449, Solicitation/Contract/Order for Commercial Products and

L0:Commercial Services, to place orders for commercial products or commercial services

L0:exceeding the simplified acquisition threshold (see FAR 12.204); and

L1:(iii) May use SF 1449 to place orders for other than commercial products or

L0:commercial services at any dollar value.

L1:(2) Schedule orders may be placed orally if?

L1:(i) The contractor agrees to furnish a delivery ticket for each shipment under the

L0:order (in the number of copies required by the ordering office). The ticket must include the?

L1:(A) Contract number;

L1:(B) Order number under the contract;

L1:(C) Date of order;

L1:(D) Name and title of person placing the order;

L1:(E) Itemized listing of supplies or services furnished; and

L1:(F) Date of delivery or shipment; and

L1:(ii) Invoicing procedures are agreed upon. Optional methods of submitting invoices

L0:for payment are permitted, such as?

L1:(A) An individual invoice with a receipted copy of the delivery ticket;

L1:(B) A summarized monthly invoice covering all oral orders made during the

L0:month, with receipted copies of the delivery tickets (this option is preferred if there are many

L0:oral orders); or

L1:(C) A contracting officer statement that the Government has received the

L0:supplies.

L1:(3) For purchases where cash payment is an advantage, the use of imprest funds in

L0:accordance with DFARS 212.403 is authorized when the contractor agrees to the

L0:procedure.

L1:(4) If permitted under the schedule contract, use of the Governmentwide commercial

L0:purchase card--

L1:(i) Is mandatory for placement of orders valued at or below the micro-purchase

L0:threshold; and

L1:(ii) Is optional for placement of orders valued above the micro-purchase

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L0:PGI 208.70?ACQUISITION UNDER THE INTEGRATED MATERIAL MANAGEMENT

L0:PROGRAM

L0:PGI 208.7002 Assignment authority.

L0:Under the DoD IMM Program, contracting responsibility for certain commodities is assigned
L0:to a single department, agency, or the General Services Administration (GSA). Consumable
L0:and nonconsumable commodity assignments are made?

L2:(1)(i)To the departments and agencies, by the Deputy Assistant Secretary of
L0:Defense (Logistics);

L1:(ii) To the military departments for nonconsumable items (repair parts) under
L0:each commodity Federal Stock Class.

L1:(2) To GSA, through agreement with GSA, by the Deputy Assistant Secretary of
L0:Defense (Logistics);

L1:(3) For acquisitions to be made in the contiguous United States for commodities not
L0:assigned under paragraphs (a)(1) or(2), of this section, by the Deputy Assistant Secretary
L0:of Defense (Logistics).

L1:(i) Agreement may be on either a one-time or a continuing basis. The
L0:submission of a military interdepartmental purchase request (MIPR) by a requiring activity
L0:and its acceptance by the contracting activity of another department, even though based on
L0:an oral communication, constitutes a one-time agreement.

L1:(ii) Consider repetitive delegated acquisition responsibilities for coordinated
L0:acquisition assignment. If not considered suitable for coordinated acquisition assignment,
L0:formalize continuing agreements and distribute them to all activities concerned.

L0:PGI 208.7002-1 Acquiring department responsibilities.

L0:The acquiring department generally is responsible under the integrated material
L0:management (IMM) program for?

L1:(1) Operational aspects of acquisition planning (phasing the submission of requirements
L0:to contracting, consolidating or dividing requirements, analyzing the market, and determining
L0:patterns for the phased placement of orders to avoid unnecessary production fluctuations
L0:and meet the needs of requiring departments at the lowest price);

L1:(2) Purchasing;

L1:(3) Performing or assigning contract administration, including follow-up and expediting of
L0:inspection and transportation; and

L1:(4) Obtaining licenses under patents and settling patent infringement claims arising out
L0:of the acquisition. (Acquiring departments must obtain approval from the department whose
L0:funds are to be charged for obtaining licenses or settling claims.)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L0:PGI 208.7002-2 Requiring department responsibilities.

L0:The requiring department is responsible for?

L1:(1) Ensuring compliance with the order of priority in FAR 8.1 for use of Government
L0:supply sources before submitting a requirement to the acquiring department for contracting
L0:action; and

L1:(2) Providing the acquiring department?

L1:(i) The complete and certified documentation required by FAR 6.104. A requiring
L0:department official, equivalent to the appropriate level in FAR 6.104, must approve the
L0:documentation before submission of the military interdepartmental purchase request (MIPR)
L0:to the acquiring department;

L1:(ii) Any additional supporting data that the acquiring department contracting officer

L0:requests (e.g., the results of any market survey or why none was conducted, and actions the

L0:requiring department will take to overcome barriers to competition in the future);

L1:(iii) The executed determination and findings required by FAR 6.103-7;

L1:(iv) When a requiring department requests an acquiring department to contract for

L0:supplies or services using full and open competition after exclusion of sources, all data

L0:required by FAR 6.102-1;

L1:(v) When the requiring department specifies a foreign end product, any

L0:determinations required by DFARS Part 225 or FAR Part 25;

L1:(vi) A complete definition of the requirements, including a list (or copies) of

L0:specifications, drawings, and other data required for the acquisition. The requiring

L0:department need not furnish Federal, military, departmental, or other specifications or

L0:drawings or data that are available to the acquiring department;

L1:(vii) Justification required by FAR 17.2 for any option quantities requested;

L1:(viii) A statement as to whether used or reconditioned material, former Government

L0:surplus property, or residual inventory will be acceptable, and if so?

L1:(A) A list of any supplies that need not be new; and

L1:(B) The basis for determining the acceptability of such supplies (see FAR

L0:11.302(b));

L1:(ix) A statement as to whether the acquiring department may exceed the total MIPR

L0:estimate and, if so, by what amount; and

L1:(x) Unless otherwise agreed between the departments, an original and six copies of

L0:each MIPR and its attachments (except specifications, drawings, and other data).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L0:PGI 208.7003 Applicability.

L0:PGI 208.7003-1 Assignments under integrated materiel management.

L1:(b) When an item assigned for IMM is to be acquired by the requiring activity under

L0:DFARS 208.7003-1(a)(3), the contracting officer must?

L1:(i) Document the contract file with a statement of the specific advantage of local

L0:purchase for an acquisition exceeding the micro-purchase threshold; and

L1:(ii) Ensure that a waiver is obtained from the IMM manager before initiating an

L0:acquisition exceeding the simplified acquisition threshold in FAR Part 2, if the IMM

L0:assignment is to the General Services Administration (GSA), the Defense Logistics Agency

L1:(DLA), or another Service contracting office. Submit requests for waiver?

L1:(A) For GSA, to: Commissioner (F)

L0:Federal Supply Service

L0:Washington, DC 20406

L1:(B) For DLA, to: DLA Land and Maritime

L0:ATTN: DSCC-BDL

L0:P.O. Box 3990

L0:Columbus, OH 43216-5000

L0:DLA Energy

L0:ATTN: DESC-CPA

L0:8725 John J. Kingman Road

L0:Fort Belvoir, VA 22060-6222

L0:DLA Aviation

L0:ATTN: DSCR-BA

L0:8000 Jefferson Davis Highway

L0:Richmond, VA 23297-5000

L0:DLA Troop Support

L0:ATTN: DSCP-ILSI (for General and Industrial)

L0:DSCP-OCS (for Medical, Clothing, and Textiles)

L0:700 Robbins Avenue, Bldg. 4

L0:Philadelphia, PA 19111-5096

L1:(iii) In addition, forward a copy of each request to:

L0:For AMC:

L0:Defense Logistics Agency

L0:Logistics Operations

L0:ATTN: J-335

L0:8725 John J. Kingman Road

L0:Fort Belvoir, VA 22060-6221

L0:HQ, Army Materiel Command

L0:ATTN: AMCLG-SL

L0:4400 Martin Road

L0:Redstone Arsenal, AL 35898

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L0:For Navy:

L0:Commanding Officer

L0:Naval Inventory Control Point Code M0418

L0:P.O. Box 2020

L0:Mechanicsburg, PA 17055-0788

L0:For Air Force: Commander

L0:HQ Air Force Materiel Command (AFMC)

L0:ATTN: A4SI

L0:4375 Chidlaw Road

L0:Wright-Patterson AFB (WPAFB), OH 45433

L0:For Marine Corps: Commandant of the Marine Corps

L0:HQ USMC ATTN: LPS-4

L0:Washington, D.C. 20380-001

L0:PGI 208.7004 Procedures.

L0:PGI 208.7004-1 Purchase authorization from requiring department.

L1:(1) Requiring departments send their requirements to acquiring departments on either a

L0:DD Form 448, Military Interdepartmental Purchase Request (MIPR), or a DD Form 416,

L0:Requisition for Coal, Coke or Briquettes. A MIPR or a DD Form 416 is the acquiring

L0:department's authority to acquire the supplies or services on behalf of the requiring

L0:department.

L1:(2) The acquiring department is authorized to create obligations against the funds cited

L0:in a MIPR without further referral to the requiring department. The acquiring department has
L0:no responsibility to determine the validity of a stated requirement in an approved MIPR, but it
L0:should bring apparent errors in the requirement to the attention of the requiring department.

L1:(3) Changes that affect the contents of the MIPR must be processed as a MIPR
L0:amendment regardless of the status of the MIPR. The requiring department may initially
L0:transmit changes electronically or by some other expedited means, but must confirm
L0:changes by a MIPR amendment.

L1:(4) The requiring department must submit requirements for additional line items of
L0:supplies or services not provided for in the original MIPR as a new MIPR. The requiring
L0:department may use a MIPR amendment for increased quantities only if?

L1:(i) The original MIPR requirements have not been released for solicitation; and
L1:(ii) The acquiring department agrees.

L0:PGI 208.7004-2 Acceptance by acquiring department.

L1:(1) Acquiring departments formally accept a MIPR by DD Form 448-2, Acceptance of
L0:MIPR, as soon as practicable, but no later than 30 days after receipt of the MIPR. If the 30
L0:day time limit cannot be met, the acquiring department must inform the requiring department
L0:of the reason for the delay, and the anticipated date the MIPR will be accepted. The
L0:acquiring department must accept MIPRs in writing before expiration of the funds.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8
L0:Defense FAR Supplement (DFARS) Part 208

L1:(2) The acquiring department in accepting a MIPR will determine whether to use
L0:Category I (reimbursable funds citation) or Category II (direct funds citation) methods of
L0:funding.

L1:(i) Category I method of funding is used under the following circumstances and
L0:results in citing the funds of the acquiring department in the contract:

L1:(A) Delivery is from existing inventories of the acquiring department;
L1:(B) Delivery is by diversion from existing contracts of the acquiring department;
L1:(C) Production or assembly is through Government work orders in Government-
L0:owned plants;

L1:(D) Production quantities are allocated among users from one or more
L0:contracts, and the identification of specific quantities of the end item to individual contracts is
L0:not feasible at the time of MIPR acceptance;

L1:(E) Acquisition of the end items involves separate acquisition of components to
L0:be assembled by the acquiring department;

L1:(F) Payments will be made without reference to deliveries of end items (e.g.,
L0:cost-reimbursement type contracts and fixed-price contracts with progress payment
L0:clauses); or

L1:(G) Category II method of funding is not feasible and economical.

L1:(ii) Category II method of funding is used in circumstances other than those in
L0:paragraph (2)(i) of this subsection. Category II funding results in citation of the requiring
L0:department's funds and MIPR number in the resultant contract.

L1:(3) When the acquiring departments accepts a MIPR for Category I funding?

L1:(i) The DD Form 448-2, Acceptance of MIPR, is the authority for the requiring
L0:department to record the obligation of funds;

L1:(ii) The acquiring department will annotate the DD Form 448-2 if contingencies,

L0:price revisions, or variations in quantities are anticipated. The acquiring department will
 L0:periodically advise the requiring department, prior to submission of billings, of any changes
 L0:in the acceptance figure so that the requiring department may issue an amendment to the
 L0:MIPR, and the recorded obligation may be adjusted to reflect the current price;
 L1:(iii) If the acquiring department does not qualify the acceptance of a MIPR for
 L0:anticipated contingencies, the price on the acceptance will be final and will be billed at time
 L0:of delivery; and
 L1:(iv) Upon receipt of the final billing (SF 1080, Voucher for Transferring Funds), the
 L0:requiring department may adjust the fiscal records accordingly without authorization from or
 L0:notice to the acquiring department.
 L1:(4) When the MIPR is accepted for Category II funding, a conformed copy of the
 L0:contract (see DFARS 204.802(1)(ii)) is the authority to record the obligation. When all
 L0:awards have been placed to satisfy the total MIPR requirement, any unused funds
 L0:remaining on the MIPR become excess to the acquiring department. The acquiring
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8
 L0:Defense FAR Supplement (DFARS) Part 208
 L0:department will immediately notify the requiring department of the excess funds by
 L0:submitting an Acceptance of MIPR (DD Form 448-2). This amendment is authorization for
 L0:the requiring department to withdraw the funds. The acquiring department is prohibited from
 L0:further use of such excess funds.
 L1:(5) When the acquiring department requires additional funds to complete the contracting
 L0:action for the requiring department, the request for additional funds must identify the exact
 L0:items involved, and the reason why additional funds are required. The requiring department
 L0:must act quickly to?
 L1:(i) Provide the funds by an amendment of the MIPR; or
 L1:(ii) Reduce the requirements.
 L1:(6) The accepting activity of the acquiring department must remain responsible for the
 L0:MIPR even though that activity may split the MIPR into segments for action by other
 L0:contracting activities.
 L0:PGI 208.7004-3 Use of advance MIPRs.
 L1:(1) An advance MIPR is an unfunded MIPR provided to the acquiring department in
 L0:advance of the funded MIPR so that initial steps in planning the contract action can begin at
 L0:an earlier date.
 L1:(2) In order to use an advance MIPR, the acquiring department and the requiring
 L0:department must agree that its use will be beneficial. The departments may execute a
 L0:blanket agreement to use advance MIPRs.
 L1:(3) The requiring department must not release an advance MIPR to the acquiring
 L0:department without obtaining proper internal approval of the requirement.
 L1:(4) When advance MIPRs are used, mark ?ADVANCE MIPR? prominently on the DD
 L0:Form 448.
 L1:(5) For urgent requirements, the advance MIPR may be transmitted electronically.
 L1:(6) On the basis of an advance MIPR, the acquiring department may take the initial
 L0:steps toward awarding a contract, such as obtaining internal coordination and preparing an
 L0:acquisition plan. Acquiring departments may determine the extent of these initial actions but
 L0:must not award contracts on the basis of advance MIPRs.

L0:PGI 208.7004-4 Cutoff dates for submission of Category II MIPRs.

L1:(1) Unless otherwise agreed between the departments, May 31 is the cutoff date for the receipt of MIPRs citing expiring appropriations which must be obligated by September 30 of that fiscal year. If circumstances arise that require the submission of MIPRs citing expiring appropriations after the cutoff date, the requiring department will communicate with the acquiring department before submission to find out whether the acquiring department can execute a contract or otherwise obligate the funds by the end of the fiscal year. Acquiring departments will make every effort to obligate funds for all such MIPRs accepted after the cutoff date. However, acceptance of a late MIPR does not constitute assurance by the acquiring department that all such funds will be obligated.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L1:(2) Nothing in these instructions is intended to restrict the processing of MIPRs when the acquiring department is capable of executing contracts or otherwise obligating funds before the end of the fiscal year.

L1:(3) The May 31 cutoff date does not apply to MIPRs citing continuing appropriations.

L0:PGI 208.7004-5 Notification of inability to obligate on Category II MIPRs.

L0:On August 1, the acquiring department will advise the requiring department of any Category II MIPRs on hand citing expiring appropriations it will be unable to obligate prior to the fund expiration date. If an unforeseen situation develops after August 1 that will prevent execution of a contract, the acquiring department will notify the requiring department as quickly as possible and will return the MIPR. The letter of transmittal returning the MIPR will authorize purchase by the requiring department and state the reason that the acquisition could not be accomplished.

L0:PGI 208.7004-6 Cancellation of requirements.

L1:(1) Category I MIPRs. The requiring department will notify the acquiring department by electronic or other immediate means when cancelling all or part of the supplies or services requested in the MIPR. Within 30 days, the acquiring department will notify the requiring department of the quantity of items available for termination and the amount of funds in excess of the estimated settlement costs. Upon receipt of this information, the requiring department will issue a MIPR amendment to reduce the quantities and funds accordingly.

L1:(2) Category II MIPRs. The requiring department will notify the acquiring department electronically or by other immediate means when cancelling all or any part of the supplies or services requested in the MIPR.

L1:(i) If the acquiring department has not entered into a contract for the supplies or services to be cancelled, the acquiring department will immediately notify the requiring department. Upon receipt of such notification, the requiring department must initiate a MIPR amendment to revoke the estimated amount shown on the original MIPR for the cancelled items.

L1:(ii) If the items to be cancelled have already been placed under contract?

L1:(A) As soon as practicable, but in no event more than 45 days after receipt of the cancellation notice from the requiring department, the contracting officer must issue a termination data letter to the requiring department (original and four copies) containing, as a minimum, the information in Table 8-1, Termination Data Letter.

L1:(B) The termination contracting officer (TCO) will review the proceedings at

L0:least every 60 days to reassess the Government's probable obligation. If any additional
 L0:funds are excess to the probable settlement requirements, or if it appears that previous
 L0:release of excess funds will result in a shortage of the amount that will be required for
 L0:settlement, the TCO will promptly notify the contracting office which will amend the
 L0:termination data letter. The requiring department will process a MIPR amendment to reflect
 L0:the reinstatement of funds within 30 days after receiving the amended termination data
 L0:letter.

L1:(C) Upon receipt of a copy of the termination settlement agreement, the
 L0:requiring department will prepare a MIPR amendment, if required, to remove any remaining
 L0:excess funds.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L0:TABLE 8-1, TERMINATION DATA LETTER

L0:Contract No.

L0:_____ Termination

L0:No. _____

L0:Contract

L0: _____

L1:(a) As termination action is now in progress on the above contract, the following
 L0:information is submitted:

L1:(1) Brief Description of items terminated.

L1:(2) You are notified that the sum of \$_____ is available for release under the
 L0:subject contract. This sum represents the difference between \$_____, the value of
 L0:items terminated under the contract, and \$_____, estimated to be required for
 L0:settlement of the terminated contract. The estimated amount available for release is
 L0:allocated by the appropriations cited on the contract as follows:

L0:MIPR NO. _____ ACCOUNTING CLASSIFICATION _____ AMOUNT _____

L0:Total available for release at this time \$_____

L1:(b) Request you forward an amendment to MIPR _____ on DD Form 448-2 to
 L0:reflect the reduced quantity and amount of funds available for release.

L1:(c) Periodic reviews (not less than 60 days) will be made as termination proceedings
 L0:progress to redetermine the Government's probable obligation.

L0: _____

L0:Contracting Officer

L0:PGI 208.7004-7 Termination for default.

L1:(1) When the acquiring department terminates a contract for default, it will ask the
 L0:requiring department if the supplies or services to be terminated are still required so that
 L0:repurchase action can be started.

L1:(2) The requiring department will not deobligate funds on a contract terminated for
 L0:default until receipt of a settlement modification or other written evidence from the acquiring
 L0:department authorizing release of funds.

L1:(3) On the repurchase action, the acquiring department will not exceed the unliquidated
 L0:funds on the defaulted contract without receiving additional funds from the requiring
 L0:department.

L0:PGI 208.7004-8 Transportation funding.

L0:The requiring department will advise the acquiring department or the transportation officer in

L0:the contract administration office of the fund account to be charged for transportation costs.

L0:The requiring department may cite the fund account on each MIPR or provide the funding

L0:cite to the transportation officer at the beginning of each fiscal year for use on Government

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L0:bills of lading. When issuing a Government bill of lading, show the requiring department as

L0:the department to be billed and cite the appropriate fund account.

L0:PGI 208.7004-9 Status reporting.

L1:(1) The acquiring department will maintain a system of MIPR follow-up to inform the

L0:requiring department of the current status of its requests. In addition, the contract

L0:administration office will maintain a system of follow-up in order to advise the acquiring

L0:department on contract performance.

L1:(2) If requested by the requiring department, the acquiring department will furnish the

L0:requiring department a copy of the solicitation when the MIPR is satisfied through Category

L0:II funding.

L1:(3) Any reimbursement billings, shipping document, contractual documents, project

L0:orders, or related documentation furnished to the requiring department will identify the

L0:requiring department's MIPR number, quantities of items, and funding information.

L0:PGI 208.7004-10 Administrative costs.

L0:The acquiring department bears the administrative costs of acquiring supplies for the

L0:requiring department. However, when an acquisition responsibility is transferred to another

L0:department, funds appropriated or to be appropriated for administrative costs will transfer to

L0:the successor acquiring department. The new acquiring department must assume budget

L0:cognizance as soon as possible.

L0:PGI 208.71?ACQUISITION FOR NATIONAL AERONAUTICS AND SPACE

L0:ADMINISTRATION (NASA)

L0:PGI 208.7102 Procedures.

L0:PGI 208.7102-1 General.

L1:(1) Departments and agencies must not claim reimbursement for administrative costs

L0:incident to acquisitions for NASA, unless agreed otherwise prior to the time the services are

L0:performed.

L1:(2) When contracting or performing field service functions for NASA, departments and

L0:agencies?

L1:(i) Will use their own methods, except when otherwise required by the terms of the

L0:agreement; and

L1:(ii) Normally will use their own funds and will not cite NASA funds on any defense

L0:obligation or payment document.

L0:PGI 208.7102-2 Purchase request and acceptance.

L1:(1) NASA will use NASA Form 523, NASA-Defense Purchase Request, to request

L0:acquisition of supplies or services.

L1:(2) Except as provided in paragraph (4) of this subsection, departments and agencies

L0:will respond within 30 days to a NASA purchase request by forwarding DD Form 448-2,

L0:Acceptance of MIPR. Forward each DD Form 448-2 in quadruplicate and indicate action

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L0:status as well as the name and address of the DoD acquisition activity for future use by the

L0:NASA initiator.

L1:(3) To the extent feasible, all documents related to the NASA action will reference the

L0:NASA-Defense Purchase Request number and the item number when appropriate.

L1:(4) Departments and agencies are not required to accept NASA-Defense Purchase

L0:Requests for common-use standard stock items that the supplying department has on hand

L0:or on order for prompt delivery at published prices.

L0:PGI 208.7102-3 Changes in estimated total prices.

L0:When a department or agency determines that the estimated total price (Block 6F, NASA

L0:Form 523) for NASA items is not sufficient to cover the required reimbursement, or is in

L0:excess of the amount required, the department/agency will forward a request for

L0:amendment to the NASA originating office. Indicate in the request a specific dollar amount,

L0:rather than a percentage, and include justification for any upward adjustment requested.

L0:Upon approval of a request, NASA will forward an amendment of its purchase request to the

L0:contracting activity.

L0:PGI 208.7102-4 Payments.

L0:Departments and agencies will submit SF 1080, Voucher for Transferring Funds, billings to

L0:the NASA office designated in Block 9 of the NASA-Defense Purchase Request, except

L0:where agreements provide that reimbursement is not required. Departments and agencies

L0:will support billings in the same manner as billings between departments and agencies.

L0:PGI 208.73?USE OF GOVERNMENT-OWNED PRECIOUS METALS

L0:a) Definitions.

L0:As used in this subpart?

L0:?Defense Supply Center, Philadelphia (DSCP)? means the Defense Logistics Agency

L0:field activity located at 700 Robbins Avenue, Philadelphia, PA 19111-5096, which is the

L0:assigned commodity integrated material manager for refined precious metals and is

L0:responsible for the storage and issue of such material.

L0:?Dual pricing evaluation procedure? means a procedure where offerors submit two prices

L0:for precious metals bearing items--one based on Government-furnished precious metals

L0:and one based on contractor-furnished precious metals. The contracting officer evaluates

L0:the prices to determine which is in the Government's best interest.

L0:?Precious Metals Indicator Code (PMIC)? means a single-digit, alpha-numeric code

L0:assigned to national stock numbered items in the Defense Integrated Data System Total

L0:Item Record used to indicate the presence or absence of precious metals in the item.

L0:PMICs and the content value of corresponding items are listed in DoD 4100.39-M, Federal

L0:Logistics Information System (FLIS) Procedures Manual, Volume 10, Chapter 4, Table 160.

L0:?Refined precious metal? means recovered silver, gold, platinum, palladium, iridium,

L0:rhodium, or ruthenium, in bullion, granulation or sponge form, which has been purified to at

L0:least .999 percentage of fineness.

L0:b) Policy.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L0:DoD policy is for maximum participation in the Precious Metals Recovery Program. DoD
L0:components must furnish recovered precious metals contained in the DSCP inventory to
L0:production contractors rather than use contractor-furnished precious metals whenever the
L0:contracting officer determines it to be in the Government's best interest.

L0:c) Procedures.

L1:(1) Item managers and contracting officers will use the PMIC and/or other relevant data
L0:furnished with a purchase request to determine the applicability of this subpart.

L1:(2) When an offeror advises of a precious metals requirement, the contracting officer
L0:must use the procedures in Chapter 11 of DoD 4160.21-M, Defense Materiel Disposition
L0:Manual, to determine availability of required precious metal assets and current Government-
L0:furnished materiel (GFM) unit prices. If the precious metals are available, the contracting
L0:officer must evaluate offers and award the contract on the basis of the offer that is in the best
L0:interest of the Government.

L1:(3) When the clause prescribed by DFARS 208.7305 is included in a solicitation, the
L0:contracting officer must ensure that Section B, Schedule of Supplies or Services and Prices,
L0:is structured to?

L1:(i) Permit insertion of alternate prices for each deliverable contract line item number
L0:that uses precious metals; and

L1:(ii) Use dual pricing evaluation procedures.

L0:d) Refined precious metals.

L0:The following refined precious metals are currently managed by DSCP:

L0:Precious Metal

L0:National Stock Number (NSN)

L0:Gold

L0:Silver

L0:Platinum Granules

L0:Platinum Sponge

L0:Palladium Granules

L0:Palladium Sponge

L0:Rhodium

L0:Iridium

L0:Ruthenium

L0:9660-00-042-7733

L0:9660-00-106-9432

L0:9660-00-042-7768

L0:9660-00-151-4050

L0:9660-00-042-7765

L0:9660-01-039-0320

L0:9660-01-010-2625

L0:9660-00-011-1937

L0:9660-01-039-0313

L0:PGI 208.74?ENTERPRISE SOFTWARE AGREEMENTS

L0:PGI 208.7401 Definitions.

L0:As used in this subpart?

L0: "Golden Disk" means a purchased license or entitlement to distribute an unlimited or bulk number of copies of software throughout DoD.

L0: "Software product manager" means the Government official who manages an enterprise software agreement.

L0: Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0: Defense FAR Supplement (DFARS) Part 208

L0: PGI 208.7403 Acquisition procedures.

L1: (1) After requirements are determined, the requiring official must review the information

L0: at the ESI website to determine if the required commercial software or related services are

L0: available from DoD inventory (e.g., Golden Disks and DoD-wide software maintenance

L0: agreements). If the software or services are available, the requiring official must fulfill the

L0: requirement from the DoD inventory.

L1: (2) If the required commercial software or related services are not in the DoD inventory,

L0: and not on an ESA, the contracting officer or requiring official may fulfill the requirement by

L0: other means. Existing ESAs are listed on the ESI website.

L1: (3) If the commercial software or related services are on an ESA, the contracting officer

L0: or requiring official must review the terms and conditions and prices in accordance with

L0: otherwise applicable source selection requirements.

L1: (4) If an ESA's terms and conditions and prices represent the best value to the

L0: Government, the contracting officer or requiring official must fulfill the requirement for

L0: software or services through the ESA.

L1: (5) If existing ESAs do not represent the best value to the Government, the software

L0: product manager (SPM) must be given an opportunity to provide the same or a better value

L0: to the Government under the ESAs before the contracting officer or requiring official may

L0: continue with alternate acquisition methods.

L1: (i) The contracting officer or requiring official must notify the SPM of specific

L0: concerns about existing ESA terms and conditions or prices through the ESI webpage.

L1: (ii) The SPM must consider adjusting, within the scope of the ESA, terms and

L0: conditions or prices to provide the best value to the customer.

L1: (A) Within 3 working days, the SPM must?

L1: (1) Update the ESA;

L1: (2) Provide an estimated date by which the update will be accomplished; or

L1: (3) Inform the contracting officer or requiring official that no change will be

L0: made to the ESA.

L1: (B) If the SPM informs the contracting officer or requiring official that no change

L0: will be made to the ESA terms and conditions or prices, the contracting officer or requiring

L0: official may fulfill the requirement by other means.

L1: (C) If the SPM does not respond within 3 working days or does not plan to

L0: adjust the ESA within 90 days, the contracting officer or requiring official may fulfill the

L0: requirement by other means.

L1: (iii) A management official designated by the department or agency may waive the

L0: requirement to obtain commercial software or related services through an ESA after the

L0: steps in paragraphs (5)(i) and (5)(ii)(A) of this section are complete. The rationale for use of

L0: an alternate source must be included in the waiver request and must be provided to the

L0: SPM.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 8

L0:Defense FAR Supplement (DFARS) Part 208

L0:PGI 251?[RESERVED]

PART 9

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

209.101 Definitions

Status: active

L0:209.101 Definitions.

L0:As used in this subpart?

L0:Effectively owned or controlled? means that a foreign government or any entity

L0:controlled by a foreign government has the power, either directly or indirectly, whether

L0:exercised or exercisable, to control the election, appointment, or tenure of the Offeror?s

L0:officers or a majority of the Offeror?s board of directors by any means, e.g., ownership,

L0:contract, or operation of law (or equivalent power for unincorporated organizations).

L0:Entity controlled by a foreign government??

L1:(1) Means?

L1:(i) Any domestic or foreign organization or corporation that is effectively owned

L0:or controlled by a foreign government; or

L1:(ii) Any individual acting on behalf of a foreign government.

L1:(2) Does not include an organization or corporation that is owned, but is not

L0:controlled, either directly or indirectly, by a foreign government if the ownership of that

L0:organization or corporation by that foreign government was effective before October 23,

L0:1992.

L0:Foreign government? includes the state and the government of any country (other than

L0:the United States and its outlying areas) as well as any political subdivision, agency, or

L0:instrumentality thereof.

L0:Proscribed information? means?

L1:(1) Top Secret information;

L1:(2) Communications security (COMSEC) material, excluding controlled

L0:cryptographic items when unkeyed or utilized with unclassified keys;

L1:(3) Restricted Data as defined in the U.S. Atomic Energy Act of 1954, as amended;

L1:(4) Special Access Program (SAP) information; or

L1:(5) Sensitive Compartmented Information (SCI).

209.104 Standards

Status: active

L0:209.104 Standards.

209.104-1 General standards

Status: active

L0:209.104-1 General standards.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(e) For cost-reimbursement or incentive type contracts, or contracts that provide for

L0:progress payments based on costs or on a percentage or stage of completion, the

L0:prospective contractor's accounting system and related internal controls must provide

L0:reasonable assurance that?

L1:(i) Applicable laws and regulations are complied with;

L1:(ii) The accounting system and cost data are reliable;

L1:(iii) Risk of misallocations and mischarges are minimized; and

L1:(iv) Contract allocations and charges are consistent with invoice procedures.

L2:(g)(i) Ownership or control by the government of a country that is a state sponsor of

L0:terrorism. (See part 240).

L1:(ii) Ownership or control by a foreign government when access to proscribed

L0:information is required to perform the contract. (A) In accordance with 10 U.S.C.

L0:4874(a), do not award a DoD contract under a national security program to an entity

L0:controlled by a foreign government if that entity requires access to proscribed

L0:information to perform the contract.

L1:(B) For questions about applying the provision at 252.209-7002, seek advice

L0:from the Security Directorate, Office of the Deputy Under Secretary of Defense, Human

L0:Intelligence, Counterintelligence, and Security.

L1:(C) In accordance with 10 U.S.C. 4874(b)(1)(A), the Secretary of Defense

L0:may waive the prohibition in paragraph (g)(ii)(A) of this section upon determining that

L0:the waiver is essential to the national security interests of the United States. The

L0:Secretary has delegated authority to grant this waiver to the Under Secretary of

L0:Defense for Intelligence. Waiver requests, prepared by the requiring activity in

L0:coordination with the contracting officer, must be processed through the Principal

L0:Director, Defense Pricing, Contracting, and Acquisition Policy, Office of the Under

L0:Secretary of Defense (Acquisition and Sustainment), and must include a proposed

L0:national interest determination. The proposed national interest determination,

L0:prepared by the requiring activity in coordination with the contracting officer, must

L0:include?

L0:ownership (include solicitation and other reference numbers to identify the action);

L1:(1) Identification of the proposed awardee, with a synopsis of its foreign

L0:requirements;

L1:(2) General description of the acquisition and performance

L0:ways award of the contract helps advance those interests;

L1:(3) Identification of the national security interests involved and the

L1:(4) The availability of another entity with the capacity, capability and

L0:technical expertise to satisfy defense acquisition, technology base, or industrial base

L0:requirements; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(5) A description of any alternate means available to satisfy the

L0:requirement, e.g., use of substitute products or technology or alternate approaches to

L0:accomplish the program objectives.

L1:(D) In accordance with 10 U.S.C. 4874(b)(1)(B), the Secretary of Defense

L0:may, in the case of a contract awarded for environmental restoration, remediation, or

L0:waste management at a DoD facility, waive the prohibition in paragraph (g)(ii)(A) of

L0:this section upon?

L1:(1) Determining that?

L1:(i) The waiver will advance the environmental restoration,

L0:remediation, or waste management objectives of DoD and will not harm the national

L0:security interests of the United States; and

L1:(ii) The contract awardee is controlled by a foreign government

L0:with which the Secretary is authorized to exchange Restricted Data under section 144c.

L0:of the Atomic Energy Act of 1954 (42 U.S.C. 2164(c)); and

L1:(2) Notifying Congress of the decision to grant the waiver. Award the

L0:contract only after the end of the 45-day period beginning on the date the appropriate

L0:Congressional committees receive notification.

209.104-4 Subcontractor responsibility

Status: active

L0:209.104-4 Subcontractor responsibility.

L0:Generally, the Canadian Commercial Corporation's (CCC) proposal of a firm as its

L0:subcontractor forms a sufficient basis for an affirmative determination of responsibility.

L0:However, when the CCC determination of responsibility is not consistent with other

L0:information, request additional information necessary to make the responsibility

L0:determination from CCC and any other sources.

209.104-70 Solicitation provision

Status: active

L0:209.104-70 Solicitation provision.

L0:Unless the solicitation includes the provision at FAR 52.204-7, insert the provision at

L0:252.209-7002, Disclosure of Ownership or Control by a Foreign Government, in all

L0:solicitations, including solicitations using FAR part 12 procedures for the acquisition of

L0:commercial products and commercial services, and solicitations using the procedures in

L0:FAR part 13, when access to proscribed information is necessary for contract

L0:performance.

209.105 Procedures

Status: active

L0:209.105 Procedures.

209.105-1 Obtaining information

Status: active

L0:209.105-1 Obtaining information.

L1:(1) For guidance on using the Exclusions section of the System for Award

L0:Management, see PGI 209.105-1.

L1:(2) Consider the supplier risk assessment available in the Supplier Performance

L0:Risk System at <https://piee.eb.mil/> when determining responsibility. See 204.7603(c).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

209.105-2 Determinations and documentation

Status: active

L0:209.105-2 Determinations and documentation.

L1:(a) Submit a copy of a determination of nonresponsibility to the appropriate

L0:debaring and suspending official listed in 209.403.

209.105-270 Inclusion of determination of contractor fault in the Integrity

Status: active

L0:209.105-270 Inclusion of determination of contractor fault in the Integrity

L0:Records module in CPARS.

L0:In accordance with section 834 of the National Defense Authorization Act for Fiscal

L0:Year 2011 (Pub. L. 111-383), if the contractor or a subcontractor at any tier is not

L0:subject to the jurisdiction of the U.S. courts, and the DoD appointing official that

L0:requested a DoD investigation makes a final determination that the contractor?s or

L0:subcontractor?s gross negligence or reckless disregard for the safety of Government

L0:personnel caused serious bodily injury or death of such personnel, then enter

L0:information regarding the determination in the Integrity Records module in CPARS

L0:within 3 days of receiving it. Information posted in the Integrity Records module in

L0:CPARS will be publicly available.

209.170 Restriction on the use of certain institutions of higher education

Status: active

L0:209.170 Restriction on the use of certain institutions of higher education.

209.170-0 Scope

Status: active

L0:209.170-0 Scope.

L0:This section implements section 1062 of the National Defense Authorization Act for

L0:Fiscal Year 2021 (Pub. L. 116-283).

209.170-1 Definitions

Status: active

L0:209.170-1 Definitions.

L0:As used in this section?

L0:Confucius Institute? means?

L1:(1) Any program that receives funding or support from?

L1:(i) The Chinese International Education Foundation; or

L1:(ii) The Center for Language Exchange Cooperation of the Ministry of

L0:Education of the People's Republic of China; or

L1:(2) Any cultural institute directly or indirectly funded by the government of the

L0:People's Republic of China.

L0:Institution of higher education? has the meaning given in 20 U.S.C. 1002.

209.170-2 Restriction

Status: active

L0:209.170-2 Restriction.

L0:None of the funds authorized to be appropriated or otherwise made available for any

L0:fiscal year for DoD may be used to contract with an institution of higher education that

L0:hosts a Confucius Institute, other than amounts provided directly to students as

L0:educational assistance. Do not enter into a contract with any institution of higher

L0:education that hosts a Confucius Institute, unless a waiver has been granted.

209.170-3 Waiver of restriction

Status: active

L0:209.170-3 Waiver of restriction.

L0:The Office of the Under Secretary of Defense (Research and Engineering) can, without

L0:power of delegation, waive the restriction in 209.170-2 in accordance with the Confucius

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L0:Institute Waiver Program guidance. The waiver authority terminates on October 1,

L0:2026. Any waiver issued will not apply on or after that date. See PGI 209.170-3.

209.170-4 Solicitation provision

Status: active

L0:209.170-4 Solicitation provision.

L0:Insert the provision at 252.209-7011, Representation for Restriction on the Use of
L0:Certain Institutions of Higher Education, in solicitations, including solicitations using
L0:FAR part 12 procedures for the acquisition of commercial products and commercial
L0:services, for acquisitions to an institution of higher education.

209.171 Preaward surveys

Status: active

L0:209.171 Preaward surveys.

L0:Follow the procedures at PGI 209.171 when requesting a preaward survey.

209.202 Policy

Status: active

L0:209.202 Policy.

L2:(a)(1) Except for aviation or ship critical safety items, obtain approval in accordance
L0:with PGI 209.202(a)(1) when establishing qualification requirements. See 209.270 for
L0:approval of qualification requirements for aviation or ship critical safety items.

209.270 Aviation and ship critical safety items

Status: active

L0:209.270 Aviation and ship critical safety items.

209.270-1 Scope

Status: active

L0:209.270-1 Scope.

L0:This section implements?

L1:(a) Section 802 of the National Defense Authorization Act for Fiscal Year 2004 (Pub.
L0:L. 108-136); and
L1:(b) Section 130 of the National Defense Authorization Act for Fiscal Year 2007 (Pub.
L0:L. 109-364); and

209.270-2 Definitions

Status: active

L0:209.270-2 Definitions.

L0:As used in this section?

L0:Aviation critical safety item? means a part, an assembly, installation equipment,
L0:launch equipment, recovery equipment, or support equipment for an aircraft or aviation

L0:weapon system if the part, assembly, or equipment contains a characteristic any failure,
L0:malfuction, or absence of which could cause?

L1:(1) A catastrophic or critical failure resulting in the loss of or serious damage to the
L0:aircraft or weapon system;

L1:(2) An unacceptable risk of personal injury or loss of life; or

L1:(3) An uncommanded engine shutdown that jeopardizes safety.

L0:?Design control activity??

L1:(1) With respect to an aviation critical safety item, means the systems command of

L0:a military department that is specifically responsible for ensuring the air worthiness of

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L0:an aviation system or equipment in which an aviation critical safety item is to be used;

L0:and

L1:(2) With respect to a ship critical safety item, means the systems command of a

L0:military department that is specifically responsible for ensuring the seaworthiness of a

L0:ship or ship equipment in which a ship critical safety item is to be used.

L0:?Ship critical safety item? means any ship part, assembly, or support equipment

L0:containing a characteristic the failure, malfunction, or absence of which could cause?

L1:(1) A catastrophic or critical failure resulting in loss of or serious damage to the

L0:ship; or

L1:(2) An unacceptable risk of personal injury or loss of life.

209.270-3 Policy

Status: active

L0:209.270-3 Policy.

L1:(a) The head of the contracting activity responsible for procuring an aviation or ship

L0:critical safety item may enter into a contract for the procurement, modification, repair,

L0:or overhaul of such an item only with a source approved by the head of the design

L0:control activity.

L1:(b) The approval authorities specified in this section apply in lieu of those otherwise

L0:specified in FAR 9.202(a)(1), 9.202(c), or 9.206-1(c), for the procurement, modification,

L0:repair, and overhaul of aviation or ship critical safety items.

209.270-4 Procedures

Status: active

L0:209.270-4 Procedures.

L1:(a) The head of the design control activity must?

L1:(1) Identify items that meet the criteria for designation as aviation or ship

L0:critical safety items. See additional information at PGI 209.270-4;

L1:(2) Approve qualification requirements in accordance with procedures

L0:established by the design control activity; and

L1:(3) Qualify and identify aviation and ship critical safety item suppliers and

L0:products.

L2:(b)(1) Ensure that the head of the design control activity has determined that a
L0:prospective contractor or its product meets or can meet the established qualification

L0:standards before the date specified for award of the contract;

L1:(2) Refer any offers received from an unapproved source to the head of the
L0:design control activity for approval. The head of the design control activity will
L0:determine whether the offeror or its product meets or can meet the established
L0:qualification standards before the date specified for award of the contract; and

L1:(3) Refer any requests for qualification to the design control activity.

L1:(c) See 246.407 and 246.504 for quality assurance requirements.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

209.270-5 Contract clause

Status: active

L0:209.270-5 Contract clause.

L0:Insert the clause at 252.209-7010, Critical Safety Items, in solicitations and contracts

L0:when the acquisition includes one or more items designated by the design control

L0:activity as critical safety items.

L0:SUBPART 209.3 [RESERVED]

209.402 Policy

Status: active

L0:209.402 Policy.

L1:(d) All debarring and suspending officials must follow the uniform suspension and
L0:debarment procedures provided at Appendix H to this chapter.

L1:(e) The department or agency must provide a copy of the Debarment and
L0:Suspension Procedures at DFARS appendix H to contractors at the time of their
L0:suspension or when they are proposed for debarment, and to other interested parties
L0:upon request.

209.403 Definitions

Status: active

L0:209.403 Definitions.

L0:Debarring and suspending official?. (1) For DoD, the designees are?

L1:(i) Army?Director, Soldier & Family Legal Services.

L1:(ii) Navy/Marine Corps?The Assistant General Counsel (Acquisition Integrity).

L1:(iii) Air Force?Deputy General Counsel (Contractor Responsibility).

L1:(iv) Defense Advanced Research Projects Agency?The Director.

L1:(v) Defense Health Agency?The Principal Deputy General Counsel.

L1:(vi) Defense Information Systems Agency?The General Counsel.
 L1:(vii) Defense Intelligence Agency?The Senior Procurement Executive.
 L1:(viii) Defense Logistics Agency?The Special Assistant for Contracting
 L0:Integrity.
 L1:(ix) Defense Threat Reduction Agency?The Director.
 L1:(x) Missile Defense Agency?The General Counsel.
 L1:(xi) National Geospatial-Intelligence Agency?The General Counsel.
 L1:(xii) National Security Agency?The Senior Acquisition Executive.
 L1:(xiii) United States Cyber Command?The Staff Judge Advocate.
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9
 L0:Defense FAR Supplement (DFARS) Part 209
 L1:(xiv) Overseas installations?as designated by the agency head.
 L1:(2) Overseas debarring and suspending officials?
 L1:(i) Are authorized to debar or suspend contractors located within the official?s
 L0:geographic area of responsibility under any delegation of authority they receive from
 L0:their agency head.
 L1:(ii) Debar or suspend in accordance with the procedures in FAR subpart 9.4 or
 L0:under modified procedures approved by the agency head based on consideration of the
 L0:laws or customs of the foreign countries concerned.
 L1:(iii) In addition to the bases for debarment in FAR 9.406-2, may consider the
 L0:following additional bases?
 L1:(A) The foreign country concerned determines that a contractor has engaged
 L0:in bid-rigging, price-fixing, or other anti-competitive behavior; or
 L1:(B) The foreign country concerned declares the contractor to be formally
 L0:debarred, suspended, or otherwise ineligible to contract with that foreign government or
 L0:its instrumentalities.
 L1:(3) The Defense Logistics Agency Special Assistant for Contracting Integrity is the
 L0:exclusive representative of the Secretary of Defense to suspend and debar contractors
 L0:from the purchase of Federal personal property under the Federal Property
 L0:Management Regulations (41 CFR 101-45.6) and the Defense Materiel Disposition
 L0:Manual (DoD 4160.21-M).

209.405 Effect of listing

Status: active

L0:209.405 Effect of listing.
 L1:(a) In accordance with 10 U.S.C. 4654(b), when a department or agency determines
 L0:that a compelling reason exists to conduct business with a debarred or suspended
 L0:contractor, it must provide written notice of the determination to the General Services
 L0:Administration (GSA), GSA Suspension and Debarment Official, Office of Acquisition
 L0:Policy, 1275 First Street, NE., Washington, DC 20417. Examples of compelling reasons
 L0:are?
 L1:(i) Only a debarred or suspended contractor can provide the supplies or services;
 L1:(ii) Urgency requires contracting with a debarred or suspended contractor;

L1:(iii) The contractor and a department or agency have an agreement covering the
 L0:same events that resulted in the debarment or suspension and the agreement includes
 L0:the department or agency decision not to debar or suspend the contractor; or
 L1:(iv) The national defense requires continued business dealings with the
 L0:debarred or suspended contractor.
 L2:(b)(i) The Procurement Cause and Treatment Code ?H? annotation in the
 L0:Exclusions section of the System for Award Management (SAM Exclusions) identifies
 L0:contractor facilities where no part of a contract or subcontract may be performed
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9
 L0:Defense FAR Supplement (DFARS) Part 209
 L0:because of a violation of the Clean Air Act (42 U.S.C. 7606) or the Clean Water Act (33
L0:U.S.C. 1368).
 L1:(ii) Under the authority of Section 8 of Executive Order 11738, the agency head
 L0:may grant an exemption permitting award to a contractor using a Code ?H? ineligible
 L0:facility if the agency head determines that such an exemption is in the paramount
 L0:interest of the United States.
 L1:(A) The agency head may delegate this exemption authority to a level no
 L0:lower than a general or flag officer or a member of the Senior Executive Service.
 L1:(B) The official granting the exemption?
 L1:(1) Must promptly notify the Environmental Protection Agency
 L0:suspending and debarring official of the exemption and the corresponding justification;
 L0:and
 L0:Environmental Protection Agency suspending and debarring official.
 L1:(2) May grant a class exemption only after consulting with the
 L1:(C) Exemptions must not exceed one year. Agencies must review the
 L0:necessity for each exemption annually and, upon making of a new determination, may
 L0:be extended for periods not to exceed one year.
 L1:(D) Agencies must report all exemptions annually to the Environmental
 L0:Protection Agency suspending and debarring official.
 L1:(E) See PGI 209.405 for additional procedures and information.

209.405-2 Restrictions on subcontracting

Status: active

L0:209.405-2 Restrictions on subcontracting.
 L1:(a) Do not consent to any subcontract with a firm, or a subsidiary of a firm,
 L0:identified in SAM Exclusions as owned or controlled by the government of a country
 L0:that is a state sponsor of terrorism unless the agency head states in writing the
 L0:compelling reasons for the subcontract. (See also part 240.)

209.406 Debarment

Status: active

L0:209.406 Debarment.

209.406-1 General

Status: active

L0:209.406-1 General.

L2:(a)(i) When the debarring official decides that debarment is not necessary, the

L0:official may require the contractor to enter into a written agreement that includes?

L1:(A) A requirement for the contractor to establish, if not already established,

L0:and to maintain the standards of conduct and internal control systems prescribed by

L0:FAR subpart 3.10; and

L1:(B) Other requirements the debarring official considers appropriate.

L1:(ii) Before the debarring official decides not to suspend or debar in the case of

L0:an indictment or conviction for a felony, the debarring official must determine that the

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L0:contractor has addressed adequately the circumstances that gave rise to the

L0:misconduct, and that appropriate standards of ethics and integrity are in place and are

L0:working.

209.406-2 Causes for debarment

Status: active

L0:209.406-2 Causes for debarment.

L1:(1) Consider any person for debarment if criminally convicted of intentionally

L0:affixing a label bearing a "Made in America" inscription to any product sold in or

L0:shipped to the United States or its outlying areas that was not made in the United

L0:States or its outlying areas (10 U.S.C. 4658).

L1:(i) The debarring official will make a determination concerning debarment not

L0:later than 90 days after determining that a person has been so convicted.

L1:(ii) If the debarring official decides not to debar, the debarring official will

L0:report that decision to the Principal Director, Defense Pricing, Contracting, and

L0:Acquisition Policy, who will notify Congress within 30 days after the decision is made.

L1:(2) A contractor that knowingly provides compensation to a former DoD official in

L0:violation of section 847 of the National Defense Authorization Act for Fiscal Year 2008

L0:may face suspension and debarment proceedings in accordance with 41 U.S.C.

L0:2105(c)(1)(C).

209.406-3 Procedures

Status: active

L0:209.406-3 Procedures.

L0:Use the procedures at PGI 209.470 when referring a potential debarment to the agency

L0:debaring and suspending official identified in 209.403.

209.407 Suspension

Status: active

L0:209.407 Suspension.

209.407-3 Procedures

Status: active

L0:209.407-3 Procedures.

L0:Use the procedures at PGI 209.470 when referring a potential suspension to the agency

L0:debaring and suspending official identified in 209.403.

209.409 Contract clause

Status: active

L0:209.409 Contract clause.

L0:Insert the clause at 252.209-7004, Subcontracting with Firms that are Owned or

L0:Controlled by the Government of a Country that is a State Sponsor of Terrorism, in

L0:solicitations and contracts with a value of \$200,000 or more.

209.470 [Reserved]

Status: active

L0:209.470 [Reserved]

209.471 Congressional Medal of Honor

Status: active

L0:209.471 Congressional Medal of Honor.

L0:In accordance with Section 8118 of Pub. L. 105-262, do not award a contract to, extend a

L0:contract with, or approve the award of a subcontract to any entity that, within the

L0:preceding 15 years, has been convicted under 18 U.S.C. 704 of the unlawful

L0:manufacture or sale of the Congressional Medal of Honor. Any entity so convicted will

L0:be listed as ineligible on the List of Parties Excluded from Federal Procurement and

L0:Nonprocurement Programs published by the General Services Administration.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

209.503-70 determines that a waiver is necessary for national security purposes

Status: active

L0:209.503-70 determines that a waiver is necessary for national security purposes.

L1:(4) The contracting officer must include the waiver request and the waiver in

L0:the contract file.

L1:(5) Not later than 30 days after approval of the waiver, the agency must provide

L0:written notification to the House and Senate Armed Services Committees of the use of

L0:such waiver authority. The notification must include?

L1:(i) The specific justification for providing the waiver;

L1:(ii) The number of offerors that did not require a waiver;

L1:(iii) The number of offerors that were granted a waiver;

L1:(iv) Identification of the covered foreign entity that is the subject of the

L0:waiver; and

L1:(v) The total dollar value of the covered contract.

L1:(e) Solicitation provision. Insert the provision at 252.209-7012, Prohibition Relating

L0:to Conflicts of Interest in Consulting Services?Certification, in solicitations, including

L0:solicitations using FAR part 12 procedures for the acquisition of commercial services,

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L0:assigned a NAICS code beginning with 5416. Do not include the provision in

L0:solicitations for the acquisition of commercial products.

209.505 General rules

Status: active

L0:209.505 General rules.

209.505-4 Obtaining access to proprietary information

Status: active

L0:209.505-4 Obtaining access to proprietary information.

L2:(b)(i) For contractors, other than litigation support contractors, accessing third

L0:party proprietary technical data or computer software, non-disclosure requirements are

L0:addressed at 227.7103-7(b), through use of the clause at 252.227-7025 as prescribed at

L0:227.7103-6(e). Pursuant to that clause, covered Government support contractors may

L0:be required to enter into non-disclosure agreements directly with the third-party

L0:asserting restrictions on limited rights technical data, commercial technical data, or

L0:restricted rights computer software. The contracting officer is not required to obtain

L0:copies of these agreements or to ensure that they are properly executed.

L1:(ii) For litigation support contractors accessing litigation information, including

L0:that originating from third parties, use and non-disclosure requirements are addressed

L0:using the clause at 252.204-7014, as prescribed at 204.7403(a). Pursuant to the clause,

L0:litigation support contractors are not required to enter into non-disclosure agreements

L0:directly with any third-party asserting restrictions on any litigation information.

209.570 Limitations on contractors acting as lead system integrators

Status: active

L0:209.570 Limitations on contractors acting as lead system integrators.

209.570-1 Definitions

Status: active

L0:209.570-1 Definitions.

L0:As used in this section?

L0:Lead system integrator with system responsibility? means a prime contractor for the development or production of a major system, if the prime contractor is not expected at the time of award to perform a substantial portion of the work on the system and the major subsystems. (See PGI 209.570-1 for additional information.)

L0:Lead system integrator without system responsibility? means a prime contractor under a contract for the procurement of services, the primary purpose of which is to perform acquisition functions closely associated with inherently governmental functions (see section 7.503(d) of the Federal Acquisition Regulation) with respect to the development or production of a major system.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

209.570-2 Policy

Status: active

L0:209.570-2 Policy.

L1:(a) Except as provided in paragraph (b) of this section, 10 U.S.C. 4292 prohibits any entity performing lead system integrator functions in the acquisition of a major system by DoD from having any direct financial interest in the development or construction of any individual system or element of any system of systems.

L1:(b) The prohibition in paragraph (a) of this subsection does not apply if?

L1:(1) The Secretary of Defense certifies to the Committees on Armed Services of the Senate and the House of Representatives that?

L1:(i) The entity was selected by DoD as a contractor to develop or construct the system or element concerned through the use of competitive procedures; and

L1:(ii) DoD took appropriate steps to prevent any organizational conflict of interest in the selection process; or

L1:(2) The entity was selected by a subcontractor to serve as a lower-tier subcontractor, through a process over which the entity exercised no control.

L1:(c) In accordance with section 802 of the National Defense Authorization Act for Fiscal Year 2008 (Pub. L. 110-181; 10 U.S.C. 4292 note), DoD may award a new contract for lead system integrator functions in the acquisition of a major system only if?

L1:(1) The major system has not yet proceeded beyond low-rate initial production;

L0:or

L1:(2) The Secretary of Defense determines in writing that carrying out the
L0:acquisition without continuing to use a contractor to perform lead system integrator
L0:functions would be impracticable and that doing so is in the best interest of DoD. The
L0:authority to make this determination may not be delegated below the level of the Under
L0:Secretary of Defense for Acquisition and Sustainment. See also 209.570-3(b).
L1:(d) Effective October 1, 2010, DoD is prohibited from awarding a new contract for
L0:lead system integrator functions in the acquisition of a major system to any entity that
L0:was not performing lead system integrator functions in the acquisition of the major
L0:system prior to January 28, 2008.

209.570-3 Procedures

Status: active

L0:209.570-3 Procedures.

L1:(a) In making a responsibility determination before awarding a contract for the
L0:acquisition of a major system?

L1:(1) Determine whether the prospective contractor meets the definition of ?lead
L0:system integrator?;

L1:(2) Consider all information regarding the prospective contractor?s direct
L0:financial interests in view of the prohibition at 209.570-2(a); and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9
L0:Defense FAR Supplement (DFARS) Part 209

L1:(3) Follow the procedures at PGI 209.570-3.

L1:(b) A determination to use a contractor to perform lead system integrator functions
L0:in accordance with 209.570-2(c)(2)?

L1:(1) Must specify the reasons why conducting the acquisition without continuing
L0:to use a contractor to perform lead system integrator functions would be impracticable,
L0:including a discussion of alternatives, such as use of the DoD workforce or a system
L0:engineering and technical assistance contractor;

L1:(2) Must include a plan for phasing out the use of contracted lead system
L0:integrator functions over the shortest period of time consistent with the interest of the
L0:national defense; and

L1:(3) Must be provided to the Committees on Armed Services of the Senate and
L0:the House of Representatives at least 45 days before the award of a contract pursuant
L0:to the determination.

209.570-4 Solicitation provision and contract clause

Status: active

L0:209.570-4 Solicitation provision and contract clause.

L1:(a) Insert the provision at 252.209-7006, Limitations on Contractors Acting as Lead
L0:System Integrators, in solicitations for the acquisition of a major system when the
L0:acquisition strategy envisions the use of a lead system integrator.

L1:(b) Insert the clause at 252.209-7007, Prohibited Financial Interests for Lead

L0:System Integrators?

L1:(1) In solicitations that include the provision at 252.209-7006; and

L1:(2) In contracts when the contractor will fill the role of a lead system integrator

L0:for the acquisition of a major system.

209.571 Organizational conflicts of interest in major defense acquisition

Status: active

L0:209.571 Organizational conflicts of interest in major defense acquisition

L0:programs.

209.571-0 Scope of section

Status: active

L0:209.571-0 Scope of section.

L0:This section implements section 207 of the Weapons System Acquisition Reform Act of

L0:2009 (Pub. L. 111-23).

209.571-1 Definitions

Status: active

L0:209.571-1 Definitions.

L0:As used in this section?

L0:Lead system integrator? includes lead system integrator with system responsibility

L0:and lead system integrator without system responsibility.

L1:(i) Lead system integrator with system responsibility? means a prime contractor for

L0:the development or production of a major system, if the prime contractor is not expected

L0:at the time of award to perform a substantial portion of the work on the system and the

L0:major subsystems.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(ii) Lead system integrator without system responsibility? means a prime

L0:contractor under a contract for the procurement of services, the primary purpose of

L0:which is to perform acquisition functions closely associated with inherently

L0:governmental functions (see section 7.503(d) of the Federal Acquisition Regulation) with

L0:respect to the development or production of a major system.

L0:Major subcontractor? means a subcontractor that is awarded a subcontract that equals

L0:or exceeds?

L1:(i) Both the certified cost or pricing data threshold and 10 percent of the value of the

L0:contract under which the subcontract is awarded; or

L1:(ii) \$55 million.

L0:Pre-Major Defense Acquisition Program? means a program that is in the Materiel

L0:Solution Analysis or Technology Development Phases preceding Milestone B of the L0:Defense Acquisition System and has been identified to have the potential to become a L0:major defense acquisition program.

L0:Systems engineering and technical assistance?.

L1:(1) Systems engineering? means an interdisciplinary technical effort to evolve L0:and verify an integrated and total life cycle balanced set of system, people, and process L0:solutions that satisfy customer needs.

L1:(2) Technical assistance? means the acquisition support, program management L0:support, analyses, and other activities involved in the management and execution of an L0:acquisition program.

L1:(3) Systems engineering and technical assistance??

L1:(i) Means a combination of activities related to the development of technical L0:information to support various acquisition processes. Examples of systems engineering L0:and technical assistance activities include, but are not limited to, supporting acquisition L0:efforts such as?

L1:(A) Deriving requirements;

L1:(B) Performing technology assessments;

L1:(C) Developing acquisition strategies;

L1:(D) Conducting risk assessments;

L1:(E) Developing cost estimates;

L1:(F) Determining specifications;

L0:verification and validation;

L1:(G) Evaluating contractor performance and conducting independent L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9 L0:Defense FAR Supplement (DFARS) Part 209

L1:(H) Directing other contractors? (other than subcontractors) operations;

L1:(I) Developing test requirements and evaluating test data;

L1:(J) Developing work statements (but see paragraph (ii)(B) of this L0:definition).

L1:(ii) Does not include?

L1:(A) Design and development work of design and development L0:contractors, in accordance with FAR 9.505-2(a)(3) or FAR 9.505-2(b)(3), and the L0:guidance at PGI 209.571-7; or

L1:(B) Preparation of work statements by contractors, acting as industry L0:representatives, under the supervision and control of Government representatives, in L0:accordance with FAR 9.505-2(b)(1)(ii).

209.571-2 Applicability

Status: active

L0:209.571-2 Applicability.

L1:(a) This section applies to major defense acquisition programs.

L1:(b) To the extent that this section is inconsistent with FAR subpart 9.5, this section L0:takes precedence.

209.571-3 Policy

Status: active

L0:209.571-3 Policy.

L1:(a) Agencies must obtain advice on major defense acquisition programs and pre-

L0:major defense acquisition programs from sources that are objective and unbiased; and

L1:(b) Generally, seek to resolve organizational conflicts of interest in a manner that

L0:will promote competition and preserve DoD access to the expertise and experience of

L0:qualified contractors. Accordingly, to the extent feasible, employ organizational conflict

L0:of interest resolution strategies that do not unnecessarily restrict the pool of potential

L0:offerors in current or future acquisitions. Further, contracting activities must not

L0:impose across-the-board restrictions or limitations on the use of particular resolution

L0:methods, except as required under 209.571-7 or as appropriate in particular

L0:acquisitions.

209.571-4 Mitigation

Status: active

L0:209.571-4 Mitigation.

L1:(a) Mitigation is any action taken to minimize an organizational conflict of interest.

L0:Mitigation may require Government action, contractor action, or a combination of both.

L1:(b) If the contracting officer and the contractor have agreed to mitigation of an

L0:organizational conflict of interest, incorporate into the contract a Government-approved

L0:Organizational Conflict of Interest Mitigation Plan, reflecting the actions a contractor

L0:has agreed to take to mitigate a conflict.

L1:(c) If determining, after consultation with legal counsel, that the otherwise

L0:successful offeror is unable to effectively mitigate an organizational conflict of interest,

L0:then , taking into account both the contract and longer term Government needs, use

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L0:another approach to resolve the organizational conflict of interest, select another offeror,

L0:or request a waiver in accordance with FAR 9.503 (but see statutory prohibition in

L0:209.571-7).

L1:(d) For any acquisition exceeding \$1 billion, brief the senior procurement executive

L0:before determining that an offeror's mitigation plan is unacceptable.

209.571-5 Lead system integrators

Status: active

L0:209.571-5 Lead system integrators.

L0:For limitations on contractors acting as lead systems integrators, see 209.570.

209.571-6 Identification of organizational conflicts of interest

L0:209.571-6 Identification of organizational conflicts of interest.

L0:When evaluating organizational conflicts of interest for major defense acquisition

L0:programs or pre-major defense acquisition programs, consider?

L1:(a) The ownership of business units performing systems engineering and technical

L0:assistance, professional services, or management support services to a major defense

L0:acquisition program or a pre-major defense acquisition program by a contractor who

L0:simultaneously owns a business unit competing (or potentially competing) to perform

L0:as?

L1:(1) The prime contractor for the same major defense acquisition program; or

L1:(2) The supplier of a major subsystem or component for the same major defense

L0:acquisition program.

L1:(b) The proposed award of a major subsystem by a prime contractor to business

L0:units or other affiliates of the same parent corporate entity, particularly the award of a

L0:subcontract for software integration or the development of a proprietary software

L0:system architecture; and

L1:(c) The performance by, or assistance of, contractors in technical evaluation.

209.571-7 Systems engineering and technical assistance contracts

Status: active

L0:209.571-7 Systems engineering and technical assistance contracts.

L1:(a) Agencies must obtain advice on systems architecture and systems engineering

L0:matters with respect to major defense acquisition programs or pre-major defense

L0:acquisition programs from Federally Funded Research and Development Centers or

L0:other sources independent of the major defense acquisition program contractor.

L1:(b) Limitation on Future Contracting. (1) Except as provided in paragraph (c) of

L0:this section, a contract for the performance of systems engineering and technical

L0:assistance for a major defense acquisition program or a pre-major defense acquisition

L0:program must prohibit the contractor or any affiliate of the contractor from

L0:participating as a contractor or major subcontractor in the development or production of

L0:a weapon system under such program.

L1:(2) The requirement in paragraph (b)(1) of this section cannot be waived.

L1:(c) Exception. (1) The requirement in paragraph (b)(1) of this section does not apply

L0:if the head of the contracting activity determines that?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(i) An exception is necessary because DoD needs the domain experience and

L0:expertise of the highly qualified, apparently successful offeror; and

L1:(ii) Based on the agreed-to resolution strategy, the apparently successful

L0:offeror will be able to provide objective and unbiased advice, as required by 209.571-

L0:3(a), without a limitation on future participation in development and production.

L1:(2) The authority to make this determination is non-delegable.

209.571-8 Solicitation provision and contract clause

Status: active

L0:209.571-8 Solicitation provision and contract clause.

L1:(a) Insert the provision at 252.209-7008, Notice of Prohibition Relating to

L0:Organizational Conflict of Interest?Major Defense Acquisition Program, if the

L0:solicitation includes the clause at 252.209-7009, Organizational Conflict of Interest?

L0:Major Defense Acquisition Program; and

L1:(b) Insert the clause at 252.209-7009, Organizational Conflict of Interest?Major

L0:Defense Acquisition Program, in solicitations and contracts for systems engineering and

L0:technical assistance for major defense acquisition programs or pre-major defense

L0:acquisition programs.

209.572 Conflicts of interest in certain consulting services

Status: active

L0:209.572 Conflicts of interest in certain consulting services.

L1:(a) Scope. (1) This section implements section 812 of the National Defense

L0:Authorization Act for Fiscal Year 2024 (Pub. L. 118-31).

L1:(2) To the extent that this section is inconsistent with FAR subpart 9.5, this

L0:section takes precedence.

L1:(b) Definitions. As used in this section?

L0:?"Consulting services?" means advisory and assistance services, except that ?consulting

L0:services?" does not include the provision of products or services related to?

L1:(i) Compliance with legal, audit, accounting, tax, reporting, or other requirements of

L0:the laws and standards of countries; or

L1:(ii) Participation in a judicial, legal, or equitable dispute resolution proceeding.

L0:?"Contract oversight entity?" means any of the following:

L1:(i) The contracting officer.

L1:(ii) The contracting officer?s representative.

L1:(iii) The Defense Contract Management Agency.

L1:(iv) The Defense Contract Audit Agency.

L1:(v) The DoD Office of Inspector General or any subcomponent of that office.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(vi) The Government Accountability Office.

L0:?"Covered contract?" means a DoD contract involving consulting services.

L0:?"Covered foreign entity?" means any of the following:

L1:(i) The government of the People?s Republic of China, the Chinese Communist

L0:Party, the People?s Liberation Army, the Ministry of State Security, or other security

L0:service or intelligence agency of the People?s Republic of China.

L1:(ii) The government of the Russian Federation or any entity sanctioned by the

L0:Secretary of the Treasury under Executive Order 13662, Blocking Property of

L0:Additional Persons Contributing to the Situation in Ukraine.

L1:(iii) The government of any country if the Secretary of State determines that such
L0:government has repeatedly provided support for acts of international terrorism
L0:pursuant to any of the following:
L1:(A) Section 1754(c)(1)(A) of the Export Control Reform Act of 2018 (50 U.S.C.
L0:4318(c)(1)(A)).
L1:(B) Section 620A of the Foreign Assistance Act of 1961 (22 U.S.C. 2371).
L1:(C) Section 40 of the Arms Export Control Act (22 U.S.C. 2780).
L1:(D) Any other provision of law.
L1:(iv) Any entity included on any of the following lists maintained by the Department
L0:of Commerce (see the Export Administration Regulations at 15 CFR subchapter C):
L1:(A) The Entity List in supplement no. 4 to 15 CFR part 744.
L1:(B) The Denied Persons List as described in 15 CFR 764.3(a)(2).
L1:(C) The Unverified List in supplement no. 6 to 15 CFR part 744.
L1:(D) The Military End User List in supplement no. 7 to 15 CFR part 744.
L1:(v) Any entity identified by the Secretary of Defense pursuant to section 1237(b) of
L0:the National Defense Authorization Act for Fiscal Year 1999 (Pub. L. 105-261; 50 U.S.C.
L0:1701 note).
L1:(vi) Any entity on the Non-Specially Designated Nationals Chinese Military-
L0:Industrial Complex Companies List maintained by the Office of Foreign Assets Control
L0:of the Department of the Treasury under Executive Order 14032, Addressing the
L0:Threat From Securities Investments That Finance Certain Companies of the People's
L0:Republic of China.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9
L0:Defense FAR Supplement (DFARS) Part 209
L1:(c) Prohibition. The contracting officer shall not award a contract assigned a North
L0:Amerian Industry Classification System (NAICS) code beginning with 5416 that
L0:involves consulting services to an offeror that both?
L1:(1) Cannot certify that neither the offeror nor its subsidiaries or affiliates hold a
L0:contract or subcontract involving consulting services with one or more covered foreign
L0:entities; and
L1:(2) Does not have a conflict-of-interest mitigation plan that is auditable by a
L0:contract oversight entity and approved by the contracting officer.
L1:(d) Waiver. (1) If the prospective contractor(s) certified, in response to paragraph
L1:(c) of the provision at 252.209-7012, Prohibition Relating to Conflicts of Interest in
L0:Consulting Services?Certification, that it or its subsidiaries or affiliates hold a contract
L0:or subcontract for consulting services with one or more covered foreign entities and the
L0:offeror has not submitted an acceptable conflict-of-interest mitigation plan, the
L0:contracting officer must?
L1:(i) Notify the offeror of the potential withholding of award due to the
L0:unmitigated conflict of interest; and
L1:(ii) Specify that the offeror has 10 days to respond to the notification.
L1:(2) Request a waiver in accordance with 209.503-70, if the contracting officer
L0:determines that it is in the best interest of the United States to award the contract,
L0:notwithstanding the conflict of interest.
L1:(3) The prohibition may be waived on a case-by-case basis if an official listed at

252.209-7000 [Reserved]

Status: active

L0:252.209-7000 [Reserved]

252.209-7001 [Reserved]

Status: active

L0:252.209-7001 [Reserved]

252.209-7002 Disclosure of Ownership or Control by a Foreign Government

Status: active

L0:252.209-7002 Disclosure of Ownership or Control by a Foreign Government.

L0:As prescribed in 209.104-70, use the following provision:

L0:DISCLOSURE OF OWNERSHIP OR CONTROL BY A FOREIGN GOVERNMENT

L0:(DEC 2022)

L1:(a) Definitions. As used in this provision?

L1:(1) Effectively owned or controlled means that a foreign government or any

L0:entity controlled by a foreign government has the power, either directly or indirectly,

L0:whether exercised or exercisable, to control the election, appointment, or tenure of the

L0:Offeror?s officers or a majority of the Offeror?s board of directors by any means, e.g.,

L0:ownership, contract, or operation of law (or equivalent power for unincorporated

L0:organizations).

L1:(2) Entity controlled by a foreign government?

L1:(i) Means?

L0:effectively owned or controlled by a foreign government; or

L1:(A) Any domestic or foreign organization or corporation that is

L1:(B) Any individual acting on behalf of a foreign government.

L1:(ii) Does not include an organization or corporation that is owned, but is not

L0:controlled, either directly or indirectly, by a foreign government if the ownership of that

L0:organization or corporation by that foreign government was effective before October 23,

L0:1992.

L1:(3) Foreign government includes the state and the government of any country

L0:(other than the United States and its outlying areas) as well as any political

L0:subdivision, agency, or instrumentality thereof.

L1:(4) Proscribed information means?

L1:(i) Top Secret information;

L1:(ii) Communications security (COMSEC) material, excluding controlled

L0:cryptographic items when unkeyed or utilized with unclassified keys;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(iii) Restricted Data as defined in the U.S. Atomic Energy Act of 1954, as

L0:amended;

L1:(iv) Special Access Program (SAP) information; or

L1:(v) Sensitive Compartmented Information (SCI).

L1:(b) Prohibition on award. No contract under a national security program may be

L0:awarded to an entity controlled by a foreign government if that entity requires access to

L0:proscribed information to perform the contract, unless the Secretary of Defense or a

L0:designee has waived application of 10 U.S.C. 4874.

L1:(c) Disclosure. The Offeror shall disclose any interest a foreign government has in

L0:the Offeror when that interest constitutes control by a foreign government as defined in

L0:this provision. If the Offeror is a subsidiary, it shall also disclose any reportable interest

L0:a foreign government has in any entity that owns or controls the subsidiary, including

L0:reportable interest concerning the Offeror?s immediate parent, intermediate parents,

L0:and the ultimate parent. Use separate paper as needed, and provide the information in

L0:the following format: Offeror?s Point of Contact for Questions about Disclosure (Name

L0:and Phone Number with Country Code, City Code and Area Code, as applicable)

L0:Offeror?s Point of Contact for Questions about Disclosure

L0:(Name and Phone Number with Country Code, City Code

L0:and Area Code, as applicable)

L0:Name and Address of Offeror

L0:Name and Address of Entity

L0:Controlled by a Foreign Government

L0:Description of Interest, Ownership

L0:Percentage, and Identification of

L0:Foreign Government

252.209-7003 [Reserved]

Status: active

L0:252.209-7003 [Reserved]

L0:(End of provision)

252.209-7004 Subcontracting with Firms that are Owned or Controlled by the

Status: active

L0:252.209-7004 Subcontracting with Firms that are Owned or Controlled by the

L0:Government of a Country that is a State Sponsor of Terrorism.

L0:As prescribed in 209.409, use the following clause:

L0:SUBCONTRACTING WITH FIRMS THAT ARE OWNED OR CONTROLLED BY

L0:THE GOVERNMENT OF A COUNTRY THAT IS A STATE SPONSOR OF

L0:TERRORISM (MAY 2019)

L1:(a) Unless the Government determines that there is a compelling reason to do so, the

L0:Contractor shall not enter into any subcontract in excess of the threshold specified in

L0:Federal Acquisition Regulation 9.405-2(b) on the date of subcontract award with a firm,

L0:or a subsidiary of a firm, that is identified in the Exclusions section of the System for

L0:Award Management System (SAM Exclusions) as being ineligible for the award of
L0:Defense contracts or subcontracts because it is owned or controlled by the government
L0:of a country that is a state sponsor of terrorism.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9
L0:Defense FAR Supplement (DFARS) Part 209
L1:(b) A corporate officer or a designee of the Contractor shall notify the Contracting
L0:Officer, in writing, before entering into a subcontract with a party that is identified, in
L0:SAM Exclusions, as being ineligible for the award of Defense contracts or subcontracts
L0:because it is owned or controlled by the government of a country that is a state sponsor
L0:of terrorism. The notice must include the name of the proposed subcontractor and the
L0:compelling reason(s) for doing business with the subcontractor notwithstanding its
L0:inclusion in SAM Exclusions.

252.209-7005 [Reserved]

Status: active

L0:252.209-7005 [Reserved]
L0:(End of clause)

252.209-7006 Limitations on Contractors Acting as Lead System Integrators

Status: active

L0:252.209-7006 Limitations on Contractors Acting as Lead System Integrators.
L0:As prescribed in 209.570-4(a), use the following provision:

L0:LIMITATIONS ON CONTRACTORS ACTING AS LEAD SYSTEM INTEGRATORS

L0:(DEC 2022)

L1:(a) Definitions. Lead system integrator, lead system integrator with system
L0:responsibility, and lead system integrator without system responsibility, as used in this
L0:provision, have the meanings given in the clause of this solicitation entitled "Prohibited
L0:Financial Interests for Lead System Integrators" (DFARS 252.209-7007).

L1:(b) General. Unless an exception is granted, no contractor performing lead system
L0:integrator functions in the acquisition of a major system by the Department of Defense
L0:may have any direct financial interest in the development or construction of any
L0:individual system or element of any system of systems.

L1:(c) Representations. (1) The offeror represents that it does
L0:[] does not [] propose to perform this contract as a lead system integrator with system
L0:responsibility.

L1:(2) The offeror represents that it does [] does not [] propose to perform this contract
L0:as a lead system integrator without system responsibility.

L1:(3) If the offeror answered in the affirmative in paragraph (c)(1) or (2) of this
L0:provision, the offeror represents that it does [] does not [] have any direct financial
L0:interest as described in paragraph (b) of this provision with respect to the system(s),
L0:subsystem(s), system of systems, or services described in this solicitation.

L1:(d) If the offeror answered in the affirmative in paragraph (c)(3) of this provision, the

L0:offeror should contact the Contracting Officer for guidance on the possibility of

L0:submitting a mitigation plan and/or requesting an exception.

L1:(e) If the offeror does have a direct financial interest, the offeror may be prohibited

L0:from receiving an award under this solicitation, unless the offeror submits to the

L0:Contracting Officer appropriate evidence that the offeror was selected by a

L0:subcontractor to serve as a lower-tier subcontractor through a process over which the

L0:offeror exercised no control.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(f) This provision implements the requirements of 10 U.S.C. 4292.

L0:(End of provision)

252.209-7007 Prohibited Financial Interests for Lead System Integrators

Status: active

L0:252.209-7007 Prohibited Financial Interests for Lead System Integrators.

L0:As prescribed in 209.570-4(b), use the following clause:

L0:PROHIBITED FINANCIAL INTERESTS FOR LEAD SYSTEM INTEGRATORS (DEC

L0:2022)

L1:(a) Definitions. As used in this clause?

L1:(1) Lead system integrator includes lead system integrator with system

L0:responsibility and lead system integrator without system responsibility.

L1:(2) Lead system integrator with system responsibility means a prime contractor

L0:for the development or production of a major system, if the prime contractor is not

L0:expected at the time of award to perform a substantial portion of the work on the

L0:system and the major subsystems.

L1:(3) Lead system integrator without system responsibility means a prime

L0:contractor under a contract for the procurement of services, the primary purpose of

L0:which is to perform acquisition functions closely associated with inherently

L0:governmental functions (see section 7.503(d) of the Federal Acquisition Regulation) with

L0:respect to the development or production of a major system.

L1:(b) Limitations. The Contracting Officer has determined that the Contractor meets

L0:the definition of lead system integrator with [] without [] system responsibility. Unless

L0:an exception is granted, the Contractor shall not have any direct financial interest in

L0:the development or construction of any individual system or element of any system of

L0:systems while performing lead system integrator functions in the acquisition of a major

L0:system by the Department of Defense under this contract.

L1:(c) Agreement. The Contractor agrees that during performance of this contract it will

L0:not acquire any direct financial interest as described in paragraph (b) of this clause, or,

L0:if it does acquire or plan to acquire such interest, it will immediately notify the

L0:Contracting Officer. The Contractor further agrees to provide to the Contracting Officer

L0:all relevant information regarding the change in financial interests so that the

L0:Contracting Officer can determine whether an exception applies or whether the

L0:Contractor will be allowed to continue performance on this contract. If a direct financial
 L0:interest cannot be avoided, eliminated, or mitigated to the Contracting Officer's
 L0:satisfaction, the Contracting Officer may terminate this contract for default for the
 L0:Contractor's material failure to comply with the terms and conditions of award or may
 L0:take other remedial measures as appropriate in the Contracting Officer's sole
 L0:discretion.

L1:(d) Notwithstanding any other clause of this contract, if the Contracting Officer
 L0:determines that the Contractor misrepresented its financial interests at the time of
 L0:award or has violated the agreement in paragraph (c) of this clause, the Government
 L0:may terminate this contract for default for the Contractor's material failure to comply
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9
 L0:Defense FAR Supplement (DFARS) Part 209
 L0:with the terms and conditions of award or may take other remedial measures as
 L0:appropriate in the Contracting Officer's sole discretion.

L1:(e) This clause implements the requirements of 10 U.S.C. 4292.

L0:(End of clause)

252.209-7008 Notice of Prohibition Relating to Organizational Conflict of

Status: active

L0:252.209-7008 Notice of Prohibition Relating to Organizational Conflict of
 L0:Interest?Major Defense Acquisition Program.

L0:As prescribed in 209.571-8(a), use the following provision:

L0:NOTICE OF PROHIBITION RELATING TO ORGANIZATIONAL CONFLICT OF L0:INTEREST?MAJOR DEFENSE ACQUISITION PROGRAM (DEC 2010)

L1:(a) Definitions. ?Major subcontractor? is defined in the clause at 252.209-7009,
 L0:Organizational Conflict of Interest?Major Defense Acquisition Program.

L1:(b) This solicitation is for the performance of systems engineering and technical
 L0:assistance for a major defense acquisition program or a pre-major defense acquisition
 L0:program.

L1:(c) Prohibition. As required by paragraph (b)(3) of section 207 of the Weapons
 L0:System Acquisition Reform Act of 2009 (Pub. L. 111-23), if awarded the contract, the
 L0:contractor or any affiliate of the contractor is prohibited from participating as a prime
 L0:contractor or a major subcontractor in the development or production of a weapon
 L0:system under the major defense acquisition program or pre-major defense acquisition
 L0:program, unless the offeror submits, and the Government approves, an Organizational
 L0:Conflict of Interest Mitigation Plan.

L1:(d) Request for an exception. If the offeror requests an exception to the prohibition of
 L0:paragraph (c) of this provision, then the offeror shall submit an Organizational Conflict
 L0:of Interest Mitigation Plan with its offer for evaluation.

L1:(e) Incorporation of Organizational Conflict of Interest Mitigation Plan in contract. If
 L0:the apparently successful offeror submitted an acceptable Organizational Conflict of
 L0:Interest Mitigation Plan, and the head of the contracting activity determines that DoD
 L0:needs the domain experience and expertise of the highly qualified, apparently

L0:successful offeror in accordance with FAR 209.571-7(c), then the Contracting Officer will
L0:incorporate the Organizational Conflict of Interest Mitigation Plan into the resultant
L0:contract, and paragraph (d) of the clause at 252.209-7009 will become applicable.
L0:(End of provision)

252.209-7009 Organizational Conflict of Interest?Major Defense Acquisition

Status: active

L0:252.209-7009 Organizational Conflict of Interest?Major Defense Acquisition
L0:Program.

L0:As prescribed in 209.571-8(b), use the following clause:

L0:ORGANIZATIONAL CONFLICT OF INTEREST?MAJOR DEFENSE ACQUISITION

L0:PROGRAM (MAY 2019)

L1:(a) Definition. As used in this clause?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L0:Major subcontractor means a subcontractor that is awarded a subcontract that
L0>equals or exceeds?

L1:(1) Both the certified cost or pricing data threshold and 10 percent of the value

L0:of the contract under which the subcontract is awarded; or

L1:(2) The threshold specified in the definition of "major subcontractor" at Defense

L0:Federal Acquisition Regulation Supplement 209.571-1 on the date of subcontract
L0:award.

L1:(b) This contract is for the performance of systems engineering and technical

L0:assistance for a major defense acquisition program or a pre-major defense acquisition
L0:program.

L1:(c) Prohibition. Except as provided in paragraph (d) of this clause, as required by

L0:paragraph (b)(3) of section 207 of the Weapons System Acquisition Reform Act of 2009

L0:(Pub. L. 111-23), the Contractor or any affiliate of the Contractor is prohibited from

L0:participating as a prime contractor or major subcontractor in the development or
L0:production of a weapon system under the major defense acquisition program or pre-
L0:major defense acquisition program.

L1:(d) Organizational Conflict of Interest Mitigation Plan. If the Contractor submitted

L0:an acceptable Organizational Conflict of Interest Mitigation Plan that has been

L0:incorporated into this contract, then the prohibition in paragraph (c) of this clause does

L0:not apply. The Contractor shall comply with the Organizational Conflict of Interest

L0:Mitigation Plan. Compliance with the Organizational Conflict of Interest Mitigation

L0:Plan is a material requirement of the contract. Failure to comply may result in the

L0:Contractor or any affiliate of the Contractor being prohibited from participating as a

L0:contractor or major subcontractor in the development or production of a weapon system

L0:under the program, in addition to any other remedies available to the Government for

L0:noncompliance with a material requirement of a contract.

252.209-7010 Critical Safety Items

Status: active

L0:252.209-7010 Critical Safety Items.

L0:As prescribed in 209.270-5, use the following clause:

L0:(End of clause)

L0:CRITICAL SAFETY ITEMS (AUG 2011)

L1:(a) Definitions.

L0:Aviation critical safety item means a part, an assembly, installation equipment,

L0:launch equipment, recovery equipment, or support equipment for an aircraft or aviation

L0:weapon system if the part, assembly, or equipment contains a characteristic any failure,

L0:malfuction, or absence of which could cause?

L1:(i) A catastrophic or critical failure resulting in the loss of, or serious damage to,

L0:the aircraft or weapon system;

L1:(ii) An unacceptable risk of personal injury or loss of life; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(iii) An uncommanded engine shutdown that jeopardizes safety.

L0:Design control activity. (i) With respect to an aviation critical safety item, means the

L0:systems command of a military department that is specifically responsible for ensuring

L0:the airworthiness of an aviation system or equipment, in which an aviation critical

L0:safety item is to be used; and

L1:(ii) With respect to a ship critical safety item, means the systems command of a

L0:military department that is specifically responsible for ensuring the seaworthiness of a

L0:ship or ship equipment, in which a ship critical safety item is to be used.

L0:Ship critical safety item means any ship part, assembly, or support equipment

L0:containing a characteristic, the failure, malfunction, or absence of which could cause?

L1:(i) A catastrophic or critical failure resulting in loss of, or serious damage to,

L0:the ship; or

L1:(ii) An unacceptable risk of personal injury or loss of life.

L1:(b) Identification of critical safety items. One or more of the items being procured

L0:under this contract is an aviation or ship critical safety item. The following items have

L0:been designated aviation critical safety items or ship critical safety items by the

L0:designated design control activity:

L0:??

L0:??

L0:??

L0:??

L0:(Insert additional lines as necessary)

L1:(c) Heightened quality assurance surveillance. Items designated in paragraph (b) of

L0:this clause are subject to heightened, risk-based surveillance by the designated quality

L0:assurance representative.

L0:(End of clause)

252.209-7011 Representation for Restriction on the Use of Certain Institutions

Status: active

L0:252.209-7011 Representation for Restriction on the Use of Certain Institutions

L0:of Higher Education.

L0:As prescribed in 209.170-4, use the following provision:

L0:REPRESENTATION FOR RESTRICTION ON THE USE OF CERTAIN

L0:INSTITUTIONS OF HIGHER EDUCATION (AUG 2025)

L1:(a) Definitions. As used in this provision?

L0:Confucius Institute means?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(1) Any program that receives funding or support from?

L1:(i) The Chinese International Education Foundation; or

L1:(ii) The Center for Language Exchange Cooperation of the Ministry of

L0:Education of the People's Republic of China; or

L1:(2) Any cultural institute directly or indirectly funded by the government of the

L0:People's Republic of China.

L0:Institution of higher education has the meaning given in 20 U.S.C. 1002.

L1:(b) Restriction. As required by section 1062 of the National Defense Authorization

L0:Act for Fiscal Year 2021 (Pub. L. 116-283), DoD may not award a contract with any

L0:institution of higher education that hosts a Confucius Institute. Section 1062 prohibits

L0:DoD from providing funding to any U.S. institution of higher education hosting a

L0:Confucius Institute unless that institution receives a waiver from the Department of

L0:Defense Office of the Under Secretary of Defense for Research and Engineering

L0:(OUSD(R&E)). The waiver authority terminates on October 1, 2026. Any waiver issued

L0:will not apply on or after that date. See the OUSD(R&E) Confucius Institute Waiver

L0:Program Guidance to U.S. Institutions of Higher Education at [https://rt.cto.mil/wp-](https://rt.cto.mil/wp-content/uploads/Confucius-Institute-Waiver-Program-Guidance-28Mar2023.pdf)

L0:content/uploads/Confucius-Institute-Waiver-Program-Guidance-28Mar2023.pdf.

L1:(c) Representation. By submission of an offer, the Offeror represents that?

L1:(1) It is not an institution of higher education that hosts a Confucius Institute;

L0:or

L1:(2) The Offeror has obtained a waiver approved by OUSD(R&E).

L0:(End of provision)

252.209-7012 Prohibition Relating to Conflicts of Interest in Consulting

Status: active

L0:252.209-7012 Prohibition Relating to Conflicts of Interest in Consulting

L0:Services?Certification.

L0:As prescribed in 209.572(e), use the following provision:

L0:PROHIBITION RELATING TO CONFLICTS OF INTEREST IN CONSULTING

L0:SERVICES?CERTIFICATION (OCT 2025)

L1:(a) Definitions. As used in this provision?

L0:Consulting services means advisory and assistance services, except that ?consulting

L0:services? does not include the provision of products or services related to?

L1:(1) Compliance with legal, audit, accounting, tax, reporting, or other

L0:requirements of the laws and standards of countries; or

L1:(2) Participation in a judicial, legal, or equitable dispute resolution proceeding.

L0:Contract oversight entity means any of the following:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(1) The Contracting Officer.

L1:(2) The Contracting Officer?s Representative.

L1:(3) The Defense Contract Management Agency.

L1:(4) The Defense Contract Audit Agency.

L1:(5) The DoD Office of Inspector General or any subcomponent of that office.

L1:(6) The Government Accountability Office.

L0:Covered contract means a DoD contract involving consulting services.

L0:Covered foreign entity means any of the following:

L1:(1) The government of the People?s Republic of China, the Chinese Communist

L0:Party, the People?s Liberation Army, the Ministry of State Security, or other security

L0:service or intelligence agency of the People?s Republic of China.

L1:(2) The government of the Russian Federation or any entity sanctioned by the

L0:Secretary of the Treasury under Executive Order 13662, Blocking Property of

L0:Additional Persons Contributing to the Situation in Ukraine.

L1:(3) The government of any country, if the Secretary of State determines that

L0:such government has repeatedly provided support for acts of international terrorism,

L0:pursuant to any of the following:

L1:(i) Section 1754(c)(1)(A) of the Export Control Reform Act of 2018 (50 U.S.C.

L0:4318(c)(1)(A)).

L1:(ii) Section 620A of the Foreign Assistance Act of 1961 (22 U.S.C. 2371).

L1:(iii) Section 40 of the Arms Export Control Act (22 U.S.C. 2780).

L1:(iv) Any other provision of law.

L1:(4) Any entity included on any of the following lists maintained by the

L0:Department of Commerce (see the Export Administration Regulations at 15 CFR

L0:subchapter C):

L1:(i) The Entity List in supplement no. 4 to 15 CFR part 744.

L1:(ii) The Denied Persons List as described in 15 CFR 764.3(a)(2).

L1:(iii) The Unverified List in supplement no. 6 to 15 CFR part 744.

L1:(iv) The Military End User List in supplement no. 7 to 15 CFR part 744.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(5) Any entity identified by the Secretary of Defense pursuant to section 1237(b)

L0:of the National Defense Authorization Act for Fiscal Year 1999 (Pub. L. 105-261; 50

L0:U.S.C. 1701 note).

L1:(6) Any entity on the Non-Specially Designated Nationals Chinese Military-

L0:Industrial Complex Companies List maintained by the Office of Foreign Assets Control

L0:of the Department of the Treasury under Executive Order 14032, Addressing the

L0:Threat From Securities Investments That Finance Certain Companies of the People's

L0:Republic of China.

L1:(b) Prohibition. DoD cannot award to the Offeror a contract assigned a North

L0:American Industry Classification System code beginning with 5416 if the Offeror?

L1:(1) Cannot certify that neither the Offeror nor any of its subsidiaries or affiliates

L0:hold a contract or subcontract that involves consulting services with one or more

L0:covered foreign entities; and

L1:(2) Does not maintain a conflict-of-interest mitigation plan as described in

L0:paragraph (d) of this provision.

L1:(c) Certification. The Offeror certifies that?

L2:(1)(i) It does [

L0:] does not [

L0:] hold a contract or subcontract that involves

L0:consulting services with one or more covered foreign entities; and

L1:(ii) Its subsidiaries or affiliates do [

L0:] do not [

L0:] hold a contract or

L0:subcontract that involves consulting services with one or more covered foreign entities;

L0:and

L1:(2) It does [

L0:] does not [

L0:] maintain a conflict-of-interest mitigation plan

L0:described in paragraph (d) of this provision.

L1:(d) Conflict-of-interest mitigation plan. If the Offeror answered in the affirmative in

L0:paragraphs (c)(1) and (2) of this provision, then the Offeror shall submit its conflict-of-

L0:interest mitigation plan to the Contracting Officer for approval. The Offeror may

L0:contact the Contracting Officer for guidance on submitting the Offeror's conflict-of-

L0:interest mitigation plan.

L1:(1) The Offeror's conflict-of-interest mitigation plan shall be auditable by a

L0:contract oversight entity and shall include?

L1:(i) An identification, unless otherwise prohibited by law or regulation, of any

L0:covered contracts of the Offeror or its subsidiaries or affiliates with a covered foreign

L0:entity. If the Offeror is unable to identify one or more covered foreign entities due to

L0:confidentiality obligations, the Offeror shall identify such entities as a covered foreign

L0:entity;

L1:(ii) A written analysis, including a course of action for avoiding, neutralizing,

L0:or mitigating the actual or potential conflict of interest of such a covered contract;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(iii) A description of the procedures by which the Offeror or its subsidiaries

L0:or affiliates will ensure that individuals who will perform the scope of a covered contract

L0:will not, for the duration of such contract, also provide any consulting services to any

L0:covered foreign entity; and

L1:(iv) A description of the procedures by which the Offeror or its subsidiaries

L0:or affiliates will submit to the contract oversight entities a notice of an unmitigated

L0:conflict of interest with respect to a covered contract within 15 days of determining that
L0:such a conflict has arisen.

L1:(2) The Contracting Officer will incorporate the Offeror's approved conflict-of-
L0:interest mitigation plan into any contract awarded to the Offeror resulting from this
L0:solicitation.

L0:(End of provision)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L0:PGI PART 209.1?RESPONSIBLE PROSPECTIVE CONTRACTORS

L0:PGI 209.105-1 Obtaining information.

L1:(1) GSA's System for Award Management (SAM), which is available at <https://sam.gov/>,
L0:identifies entities excluded throughout the U.S. Government (unless otherwise noted) from
L0:receiving Federal contracts or certain subcontracts and from certain types of Federal
L0:financial and non-financial assistance and benefits. The SAM website provides useful
L0:documents and online training to assist with SAM navigation and data entry. User Guides
L0:and Demonstration Videos can be found in the User Help section after clicking the HELP link
L0:at the top of the website homepage. The former Excluded Parties List System (EPLS)
L0:information is within the Performance Information functional area of SAM maintained as
L0:?Exclusions? data. Exclusions are in the Data Access area of SAM which can be accessed
L0:by navigating the following path after logging into the SAM website. Select Tab - MYSAM,
L0:Tab - Data Access, and Tab - Exclusions.

L1:(i) Multiple agencies have the authority to suspend or debar entities from ?doing
L0:business? with the Government. There are approximately 71 separate cause and treatment
L0:codes under which entities have been suspended or debarred or excluded. New exclusion
L0:records created in SAM will no longer be identified with cause and treatment codes.

L0:Exclusions will be associated with one of four exclusion types: Preliminarily Ineligible
L0:(Proceedings Pending), Ineligible (Proceedings Completed), Prohibition/Restriction,
L0:Voluntary Exclusion. Each cause and treatment code is linked to one exclusion type.

L1:(ii) The exclusion type advises readers of the nature of the exclusion, debarment, or
L0:suspension and how those listed in the SAM Exclusions should be treated. However, the
L0:fact that an entity is listed in the SAM Exclusions does not necessarily mean the entity is
L0:ineligible for contract award. Review of the exclusion type is crucial in ensuring that listed
L0:entities are not deprived of their ?liberty interest? in conducting business with the
L0:Government.

L1:(iii) When the Department of Justice Bureau of Justice Assistance debars
L0:individuals under 10 U.S.C. 4656, they are placed in the SAM Exclusions under cause and
L0:treatment code FF (Reciprocal), which is now linked to exclusion type, Ineligible
L0:(Proceedings Completed). The records for individuals currently entered into EPLS and
L0:listed under this cause and treatment code can be found in the SAM Exclusions. Records
L0:created in EPLS have both a cause and treatment code and an exclusion type listed.

L1:(2) The contracting officer shall consider the information available in the Supplier
L0:Performance Risk System during the evaluation of quotations and offers received in
L0:response to a solicitation and in the determination of the contractor's responsibility. In
L0:addition, the contracting officer shall document the contract file regarding any action taken
L0:as a result of information obtained from the Supplier Performance Risk System.

L0:PGI 209.170-3 Waiver of restriction.

L0:The waiver authority terminates on October 1, 2026. For information on the roles of

L0:requiring activities and the Confucius Institute Waiver Program in the waiver process, see

L0:the Confucius Institute Waiver Program Guidance to U.S. Institutions of Higher Education,

L0:issued by the Office of the Under Secretary of Defense (Research and Engineering),

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L0:Confucius Institute Waiver Program and available at [https://rt.cto.mil/wp-](https://rt.cto.mil/wp-content/uploads/Confucius-Institute-Waiver-Program-Guidance-28Mar2023.pdf)

L0:content/uploads/Confucius-Institute-Waiver-Program-Guidance-28Mar2023.pdf.

L0:PGI 209.171 Preaward surveys.

L0:PGI 209.171-1 Conditions for preaward surveys.

L1:(a) If a preaward survey is requested, include the rationale in Block 23 of the SF 1403,

L0:Preaward Survey of Prospective Contractor (General).

L0:PGI 209.171-2 Requests for preaward surveys.

L1:(1) The surveying activity is the cognizant contract administration office as listed in

L0:the Federal Directory of Contract Administration Services Components, available at

L0:<https://pubapp.dcma.mil/CASD/main.jsp>. When information is required as part of the survey

L0:on the adequacy of the contractor's accounting system or its suitability for administration of

L0:the proposed type of contract, the surveying activity will obtain the information from the

L0:auditor.

L1:(2) Limited information may be requested by telephone.

L1:(3) The contracting officer may request a formal survey by telephone but must

L0:confirm immediately with SF 1403, Preaward Survey of Prospective Contractor (General).

L0:For a formal survey, send original and three copies of SF 1403, including necessary

L0:drawings and specifications.

L1:(i) List additional factors in Item H, Section III of the SF 1403 and explain them

L0:in Block 23. For example?

L1:(A) Information needed to determine a prospective contractor's eligibility

L0:under the Walsh-Healey Public Contracts Act. (Note that the Walsh-Healey Public Contracts

L0:Act, Block 12 of Section I, only indicates what the contractor has represented its

L0:classification to be under Walsh-Healey.)

L1:(B) Evaluation of a contractor as a planned producer when the offered item

L0:is or may appear on the Industrial Preparedness Planning List (IPPL). When the preaward

L0:survey results in a recommendation for award, ask the office responsible for industrial

L0:preparedness planning to consider designating the prospective contractor as a planned

L0:producer. If the item is already on the IPPL or the prospective contractor is already a

L0:planned producer, note the information in Block 23.

L0:business subcontracting plans.

L1:(C) Evaluation of the prospective contractor's performance against small

L1:(4) On base level preaward surveys, technical personnel from the requiring

L0:installation should participate when there is concern about the ability of a prospective

L0:contractor to perform a base level service or construction contract.

L1:(5) Allow more time for?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(i) Complex items;

L1:(ii) New or inexperienced DoD contractors; and

L1:(iii) Surveys with time-consuming requirements, e.g., secondary survey,

L0:accounting system review, financial capability analysis, or purchasing office participation.

L1:(6) Only request those factors essential to the determination of responsibility. See

L0:DFARS 253.209-1(a) for an explanation of the factors in Section III, Blocks 19 and 20 of the

L0:SF 1403.

L0:PGI 209.2?QUALIFICATIONS REQUIREMENTS

L0:PGI 209.202 Policy.

L2:(a)(1) The inclusion of qualification requirements in specifications for products that are to

L0:be included on a Qualified Products List, or manufactured by business firms included on a

L0:Qualified Manufacturers List, requires approval by the departmental standardization office in

L0:accordance with DoD 4120.24-M, Defense Standardization Program (DSP) Policies and

L0:Procedures. The inclusion of other qualification requirements in an acquisition or group of

L0:acquisitions requires approval by the chief of the contracting office.

L0:PGI 209.270 Aviation and ship critical safety items.

L0:PGI 209.270-4 Procedures.

L1:(1) Policies and procedures applicable to aviation critical safety item design control

L0:activities are in DoD Manual 4140.01, Volume 11, DoD Supply Chain Materiel Management

L0:Procedures: Inventory Accountability and Special Management and Handling, DoD Aviation

L0:Critical Safety Item (CSI)/Flight Safety Critical Aircraft Part (FSCAP) Program. This

L0:regulation provides direction on establishing criticality determinations, identification of

L0:aviation critical safety items in the Federal Logistics Information System, and related

L0:requirements.

L1:(2) [Reserved]

L0:PGI 209.4?DEBARMENT, SUSPENSION, AND INELIGIBILITY

L0:PGI 209.405 Effect of listing.

L1:(1) Environmental Protection Agency (EPA) responsibilities under Executive Order

L0:11738, Providing for Administration of the Clean Air Act and the Federal Water Pollution

L0:Control Act With Respect to Federal Contracts, Grants, or Loans, have been delegated to

L0:the EPA Suspending and Debarment Official (EPA SDO).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(i) Submit notifications and reports required by DFARS 209.405(b) to the EPA SDO

L0:at the following address:

L0:Office of Grants and Debarments

L0:U.S. Environmental Protection Agency

L0:Ariel Rios Building

L0:1200 Pennsylvania Avenue NW

L0:Washington, DC 20640

L0:Telephone: 202-564-5399

L1:(ii) Unless agency procedures specify otherwise, coordinate submissions to the

L0:EPA SDO through the applicable agency suspending and debarment official.

L1:(2) Executive Order 11738 is available at <https://www.archives.gov/federal->

L0:register/codification/executive-order/11738.html .

L1:(3) Contracting officers are required to review the System for Award Management

L1:(SAM) Exclusions twice, once after opening of bids/receipt of proposals (FAR 9.405(d)(1))

L0:and again immediately prior to award (FAR 9.405(d)(4)). The contracting officer shall

L0:document the contract file for both searches; the documentation may include a copy of the

L0:SAM Exclusions search results.

L0:PGI 209.470 Debarment and Suspension Procedures.

L1:(a) Investigation and referral.

L1:(1) When referring any matter to the agency debarring and suspending official for

L0:consideration, provide the following specific information and documentation, to the extent

L0:practicable. Send two copies (one paper and one electronic) of each report, including

L0:enclosures.

L1:(2) For all referrals, provide the following:

L1:(i) Name, address, and telephone number of the point of contact for the activity

L0:making the report.

L1:(ii) Name and address of the referred individual/contractor, CAGE code, and

L0:unique entity identifier, if applicable.

L1:(iii) Name and addresses of the members of the board, principal officers,

L0:partners, owners, and managers of the referred contractor.

L1:(iv) Name and addresses of all known affiliates, subsidiaries, or parent firms,

L0:and the nature of the business relationship to the referred individual/contractor.

L1:(v) If a contracting office initiates the report, the comments and

L0:recommendations of the contracting officer and of each higher-level contracting review

L0:authority regarding?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(A) Whether to suspend or debar the contractor;

L1:(B) Whether to apply limitations to the suspension or debarment;

L1:(C) The period of any recommended debarment; and

L0:explain why a recommendation regarding current contracts is not included).

L1:(D) Whether to continue any current contracts with the contractor (or

L1:(vi) To the extent that this information is available through FPDS-NG, a list of

L0:other agencies that hold current contracts with the referred individual/contractor.

L1:(3) For referrals based on judicial actions (indictments, convictions, civil judgments,

L0:etc.), provide the following:

L1:(i) Copies of indictments, judgments, and sentencing actions.

L1:(ii) Copies of investigative reports when authorized by the investigative agency.

L1:(iii) Witness statements or affidavits when authorized by the investigative

L0:agency.

L1:(iv) If judicial action is contract-related, the contract number, description of

L0:supplies or services, and contract amount.

L1:(4) For ?fact-based? referrals (no judicial action), for each contract affected by the

L0:misconduct or poor performance being reported, provide the following:

L1:(i) The contract number, description of supplies or services, contract amount,

L0:percentage of completion, and amounts paid to and withheld from the contractor.

L1:(ii) Whether the contract is assigned under the Assignment of Claims Act and, if
L0:so, to whom.

L1:(iii) The contract fund citations involved, to expedite accurate return of funds to
L0:open accounts and commands, as appropriate.

L1:(iv) For any other contracts outstanding with the contractor or any of its
L0:affiliates, the contract number, description of supplies or services, and contract amount.

L1:(v) A complete summary of all pertinent evidence and the status of any legal
L0:proceedings involving the contractor.

L1:(vi) An estimate of any damages sustained by the Government as a result of the
L0:contractor's action (explain how the estimate was calculated).

L1:(vii) A copy of pertinent extracts of each pertinent contract.

L1:(viii) Copies of investigative reports when authorized by the investigative
L0:agency.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(ix) Witness statements or affidavits when authorized by the investigative
L0:agency.

L1:(x) A copy of any available determinations of nonresponsibility in accordance
L0:with FAR 9.105-2(a)(1).

L1:(xi) Any other appropriate exhibits or documentation.

L1:(b) Decisionmaking process.

L1:(1) The agency debarring and suspending official shall follow the procedures and
L0:decisionmaking process stated in FAR 9.406-3(c) for proposed debarments and
L0:debarments) and FAR 9.407-3 (for suspensions), DFARS Appendix H, and any agency-
L0:specific procedures that are to be provided to the individual/contractor with the notice of
L0:proposed debarment or suspension, either by enclosure or electronic reference.

L1:(2) The absence of a referral in accordance with this section, or the absence of any
L0:information specified in this section, will not preclude the debarring and suspending official
L0:from making decisions to suspend, propose for debarment, or debar an individual/contractor.

L1:(3) The signature of the debarring and suspending official on the notice of
L0:suspension, proposed debarment, or debarment is sufficient evidence that the debarring
L0:and suspending official has made the specified decision.

L1:(4) If a debarring and suspending official determines that a referral lacks sufficient
L0:evidence of a cause for suspension or debarment, the debarring and suspending official
L0:may refer the matter for further review or investigation, as appropriate, by an appropriate
L0:agency or other Government entity, including a contracting activity, inspector general,
L0:auditing agency, or a criminal investigative agency.

L0:PGI 209.5?ORGANIZATIONAL AND CONSULTANT CONFLICTS OF INTEREST

L0:PGI 209.503-70 Waiver.

L0:To process a waiver under DFARS 209.503-70, submit the waiver, in accordance with
L0:agency procedures, to the Office of the Principal Director, Defense Pricing, Contracting, and
L0:Acquisition Policy (Contract Policy) (DPCAP/CP) at [osd.pentagon.ousd-a-s.mbx.asda-dp-c-](mailto:osd.pentagon.ousd-a-s.mbx.asda-dp-c-contractpolicy@mail.mil)
L0:contractpolicy@mail.mil.

L0:PGI 209.570 Limitations on contractors acting as lead system integrators.

L0:PGI 209.570-1 Definitions.

L0:The phrase "substantial portion of the work," as used in the definition of "lead system integrator with system responsibility" in the clause at DFARS 252.209-7007, may relate to L0:the dollar value of the effort or to the criticality of the effort to be performed.

L0:PGI 209.570-3 Procedures.

L1:(1) After assessing the offeror's direct financial interests in the development or L0:construction of any individual system or element of any system of systems, if the offeror?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 9

L0:Defense FAR Supplement (DFARS) Part 209

L1:(i) Has no direct financial interest in such systems, the contracting officer shall L0:document the contract file to that effect and may then further consider the offeror for award L0:of the contract;

L1:(ii) Has a direct financial interest in such systems, but the exception in DFARS L0:209.570-2(b)(2) applies, the contracting officer shall document the contract file to that effect L0:and may then further consider the offeror for award of the contract;

L1:(iii) Has a direct financial interest in such systems and the exception in DFARS L0:209.570-2(b)(2) does not apply, but the conditions in DFARS 209.570-2(b)(1)(i) and (ii) do L0:apply, the contracting officer?

L1:(A) Shall document the contract file to that effect;

L1:(B) May, in coordination with program officials, request an exception for the L0:offeror from the Secretary of Defense, in accordance with paragraph (2) of this subsection; L0:and

L1:(C) Shall not award to the offeror unless the Secretary of Defense grants the L0:exception and provides the required certification to Congress; or

L1:(iv) Has a direct financial interest in such systems and the exceptions in DFARS L0:209.570-2(b)(1) and (2) do not apply, the contracting officer shall not award to the offeror.

L2:(2)(i) To process an exception under DFARS 209.570-2(b)(1), the contracting officer L0:shall submit the request and appropriate documentation to the Office of the Principal L0:Director, Defense Pricing, Contracting, and Acquisition Policy (Contract Policy) (DPCAP/CP) L0:at osd.pentagon.ousd-a-s.mbx.asda-dp-c-contractpolicy@mail.mil.

L1:(ii) The DPCAP/CP action officer will process the request through the Office of the L0:Secretary of Defense and, if approved, to the appropriate committees of Congress. The L0:contracting officer shall not award a contract to the affected offeror until notified by the L0:DPCAP/CP action officer that the exception has been approved and transmitted to L0:Congress.

L0:PGI 209.571 Organizational conflicts of interest in major defense acquisition L0:programs.

L0:PGI 209.571-7 Systems engineering and technical assistance contracts.

L0:Because of the special organizational conflict of interest restrictions that relate to systems L0:engineering and technical assistance contracts, consider separating systems engineering L0:and technical assistance-type work from design- and development-type work, and consider L0:not including both types of work in the same task order or other contract vehicle.

PART 10

210.070 Market research report guide for improving the tradecraft in

Status: active

L0:210.070 Market research report guide for improving the tradecraft in

L0:services acquisition.

L0:When acquiring services, see PGI 210.070, for the ?Market Research Report Guide for

L0:Improving the Tradecraft in Services Acquisition?.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 10

L0:Defense FAR Supplement (DFARS) Part 210

L0:PGI 210?MARKET RESEARCH

L0:PGI 210.001 Market research requirements.

L1:(e) When documenting the results of market research?

L1:(1) Contracting officers should retain information on potential offerors that express

L0:an interest, in order to solicit feedback in instances when only one offer is received on a

L0:competitive solicitation (see PGI 215.371).

L1:(2) Contracting officers should ensure the contract file includes the?

L1:(i) Methods used to conduct market research;

L1:(ii) Timeframe in which market research was conducted;

L1:(iii) Analysis of the capabilities of the potential offerors that were identified

L0:during market research; and

L1:(iv) Any conclusion(s) reached as a result of market research analysis.

L0:PGI 210.070 Market research report guide for improving the tradecraft in services

L0:acquisition.

L0:The ?Market Research Report Guide for Improving the Tradecraft in Services

L0:Acquisition? is designed to aid in the collection and sharing of standardized market

L0:research information across the Department. The guide is available for download at

L0:[https://www.acq.osd.mil/asda/dpc/cp/policy/docs/sa/2017_Market_Research_Guide_\(Fi](https://www.acq.osd.mil/asda/dpc/cp/policy/docs/sa/2017_Market_Research_Guide_(Fi)

L0:nal).pdf.

PART 11

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

211.102 Policy

Status: active

L0:211.102 Policy.

L0:DoD technology and acquisition programs are subject to the policies and procedures

L0:in DoDD 5000.01, The Defense Acquisition System, and DoDI 5000.02, Operation of

L0:the Adaptive Acquisition Framework.

211.204 Items peculiar to one manufacturer

Status: active

L0:211.204 Items peculiar to one manufacturer.

L0:To partially implement section 888 of fiscal year (FY) 2017 National Defense

L0:Authorization Act (NDAA) (Pub. L. 114-328), a justification and approval is

L0:required to use brand name or equal purchase descriptions?

L1:(1) When using sealed bidding or negotiated acquisition procedures (see

L0:206.103-1(d); or

L1:(2) When using the simplified procedures for certain commercial products

L0:and commercial services at FAR 12.201-1 (see part 212).

211.270 Purchase descriptions for service contracts

Status: active

L0:211.270 Purchase descriptions for service contracts.

L0:To partially implement section 831 of FY 2009 NDAA (Pub. L. 110-417), agencies

L0:must require that purchase descriptions and requirements documents for service

L0:contracts include language to provide a clear distinction between Government

L0:employees and contractor employees as follows:

L1:(a) Agencies must be guided by the characteristics and descriptive elements of

L0:personal-services contracts.

L1:(b) Service contracts must require contractor employees to identify themselves

L0:as contractor personnel by introducing themselves or being introduced as contractor

L0:personnel and displaying distinguishing badges or other visible identification for

L0:meetings with Government personnel.

L1:(c) Services contracts must require contractor personnel to appropriately

L0:identify themselves as contractor employees in telephone conversations and in
L0:formal and informal written correspondence.

211.271 Alternatives to Government-Unique Standards

Status: active

L0:211.271 Alternatives to Government-Unique Standards

211.271-1 Solicitation provision

Status: active

L0:211.271-1 Solicitation provision.

L0:Insert the provision at FAR 52.211-7, Alternatives to Government-Unique

L0:Standards, in DoD solicitations that include military or Government-unique

L0:specifications and standards to implement section 875(c) of the National Defense

L0:Authorization Act for Fiscal Year 2017 (Pub. 114-328).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 11

L0:Defense FAR Supplement (DFARS) Part 211

211.272 Use of proprietary specifications or standards

Status: active

L0:211.272 Use of proprietary specifications or standards.

L0:To comply with section 888(b)(1) of FY 2017 NDAA, a justification and approval is

L0:required to use proprietary specifications and standards?

L1:(a) When using sealed bidding or negotiated acquisition procedures (see

L0:206.103-1); or

L1:(b) When using the simplified procedures for certain commercial products or

L0:commercial services at FAR 12.201-1 (see part 212).

211.273 Using and maintaining requirements documents

Status: active

L0:211.273 Using and maintaining requirements documents.

211.273-1 Identification and availability of specifications

Status: active

L0:211.273-1 Identification and availability of specifications.

L0:Follow the procedures at PGI 211.211-273-1 for obtaining specifications, standards,

L0:and data item descriptions from the Acquisition Streamlining and Standardization

L0:Information System (ASSIST) database, including DoD adoption notices on

L0:voluntary consensus standards.

211.273-2 Solicitation provisions and contract clauses

Status: active

L0:211.273-2 Solicitation provisions and contract clauses.

L0:Insert a provision, as appropriate, substantially the same as 252.211-7002,

L0:Availability for Examination of Specifications, Standards, Plans, Drawings, Data

L0:Item Descriptions, and Other Pertinent Documents when contract performance

L0:requires use of specifications, standards, and data item descriptions that are not

L0:listed in the ASSIST database.

211.274 (a)

Status: active

L0:211.274 (a).

L1:(b) Insert the clause at 252.211-7008, Use of Government-Assigned Serial

L0:Numbers, in solicitations and contracts, including solicitations and contracts using

L0:FAR part 12 procedures for the acquisition of commercial products and commercial

L0:services, that?

L1:(1) Contain the clause at 252.211-7003, Item Unique Identification and

L0:Valuation; and

L1:(2) Require the contractor to mark major end items under the terms and

L0:conditions of the contract.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 11

L0:Defense FAR Supplement (DFARS) Part 211

211.274-1 General

Status: active

L0:211.274-1 General.

L0:Item unique identification and valuation is a system of marking, valuing, and

L0:tracking items delivered to DoD that enhances logistics, contracting, and financial

L0:business transactions supporting the United States and coalition troops.

211.274-2 Requirements for item unique identification

Status: active

L0:211.274-2 Requirements for item unique identification.

L1:(a) DoD item unique identification, or a DoD recognized unique identification

L0:equivalent, is required for all delivered items, including items of contractor-acquired

L0:property delivered on line items (see PGI 245.402-71 for guidance when delivery of

L0:contractor acquired property is required).

L1:(b) The primary inventory control activity (PICA) determines that an item requires

L0:unique item-level traceability. The PICA will designate the item as a ?DoD serially

L0:managed item.? DoD serially managed items are identified by the Federal Logistics

L0:Information System DoD serially managed item indicator set to ?Y?.

L1:(c) Procedures for identifying items that require unique item-level traceability can

L0:be found in department of Defense Instruction (DoDI) 8320.04, DoD Serially Managed

L0:Items of Tangible Personal Property and Item Unique Identification 2.0 Standard.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 11

L0:Defense FAR Supplement (DFARS) Part 211

211.274-3 Requirements for valuation

Status: active

L0:211.274-3 Requirements for valuation.

L1:(a) The statement of work or requirement document must require contractors to

L0:identify the Government's unit acquisition cost for all deliverable end items to

L0:which item unique identification applies.

L1:(b) The Government's unit acquisition cost is?

L1:(1) For fixed-price type line, subline, or exhibit line items, the unit price

L0:identified in the contract at the time of delivery;

L1:(2) For cost-type or undefinitized line, subline, or exhibit line items, the

L0:contractor's estimated fully burdened unit cost to the Government at the time of

L0:delivery; and

L1:(3) For items delivered under a time-and-materials contract, the

L0:contractor's estimated fully burdened unit cost to the Government at the time of

L0:delivery.

L1:(c) The Government's unit acquisition cost of subassemblies, components, and

L0:parts embedded in delivered items must not be separately identified.

211.274-4 Requirements for assignment of Government-assigned serial

Status: active

L0:211.274-4 Requirements for assignment of Government-assigned serial

L0:numbers.

L0:The statement of work or requirement document must require contractors to apply

L0:Government-assigned serial numbers, such as tail numbers/hull numbers and

L0:equipment registration numbers, in human-readable format on major end items

L0:when required by law, regulation, or military operational necessity. Contractors are

L0:required to use the latest version of MIL-STD-130, Marking of U.S. Military

L0:Property, for the marking of human-readable information.

211.274-5 Contract clauses

Status: active

L0:211.274-5 Contract clauses.

L1:(a) Insert the clause at 252.211-7003, Item Unique Identification and Valuation,

L0:in solicitations and contracts, including solicitations and contracts using FAR part

L0:12 procedures for the acquisition of commercial products and commercial services,

L0:for supplies, and for services involving the furnishing of supplies in accordance with

211.275 Elimination of use of class I ozone-depleting substances

Status: active

L0:211.275 Elimination of use of class I ozone-depleting substances.

L0:See 223.107-4 for restrictions on contracting for ozone-depleting substances

211.400 Scope

Status: active

L0:211.400 Scope.

L0:To implement 15 USC 637(d)(4)(F), this subpart and FAR subpart 11.4 do not apply

L0:to liquidated damages for comprehensive subcontracting plans under the Test

L0:Program for Negotiation of Comprehensive Small Business Subcontracting Plans.

L0:See 219.702-70 for coverage of liquidated damages for comprehensive

L0:subcontracting plans.

211.403 Contract clause

Status: active

L0:211.403 Contract clause.

L1:(b) Insert the clause at FAR 52.211-12, Liquidated Damages?Construction, in

L0:all construction contracts exceeding \$900,000, except cost-plus-fixed-fee contracts or

L0:contracts where the contractor cannot control the pace of the work. Use of the clause

L0:in contracts of \$900,000 or less is optional.

211.502 General

Status: active

L0:211.502 General.

L0:DoD implementation of the Defense Priorities and Allocations System is in DoDD

L0:4400.1, Defense Production Act Programs.

211.7001 Procedures

Status: active

L0:211.7001 Procedures.

L0:Follow the procedures at PGI 211.7001 for developing and distributing purchase

L0:requests, except for the requirements for Military Interdepartmental Purchase

L0:Requests (DD Form 448) addressed in 253.208-1.

252.211-7000 Reserved

Status: active

L0:252.211-7000 Reserved.

252.211-7001 Reserved

Status: active

L0:252.211-7001 Reserved.

252.211-7002 Availability for Examination of Specifications, Standards, Plans,

Status: active

L0:252.211-7002 Availability for Examination of Specifications, Standards, Plans,

L0:Drawings, Data Item Descriptions, and Other Pertinent Documents.

L0:As prescribed in 211.273-2, use the following provision:

L0:AVAILABILITY FOR EXAMINATION OF SPECIFICATIONS, STANDARDS, PLANS,

L0:DRAWINGS, DATA ITEM DESCRIPTIONS, AND OTHER PERTINENT

L0:DOCUMENTS (DEC 1991)

L0:The specifications, standards, plans, drawings, data item descriptions, and other

L0:pertinent documents cited in this solicitation are not available for distribution but may

L0:be examined at the following location:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 11

L0:Defense FAR Supplement (DFARS) Part 211

L0:(Insert complete address)

L0:(End of provision)

252.211-7003 Item Unique Identification and Valuation

Status: active

L0:252.211-7003 Item Unique Identification and Valuation.

L0:As prescribed in 211.274-5(a), use the following clause:

L0:ITEM UNIQUE IDENTIFICATION AND VALUATION (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Automatic identification device? means a device, such as a reader or

L0:interrogator, used to retrieve data encoded on machine-readable media.

L0:Concatenated unique item identifier? means?

L1:(1) For items that are serialized within the enterprise identifier, the linking

L0:together of the unique identifier data elements in order of the issuing agency code,

L0:enterprise identifier, and unique serial number within the enterprise identifier; or

L1:(2) For items that are serialized within the original part, lot, or batch

L0:number, the linking together of the unique identifier data elements in order of the

L0:issuing agency code; enterprise identifier; original part, lot, or batch number; and serial

L0:number within the original part, lot, or batch number.

L0:Data matrix? means a two-dimensional matrix symbology, which is made up of

L0:square or, in some cases, round modules arranged within a perimeter finder pattern

L0:and uses the Error Checking and Correction 200 (ECC200) specification found within

L0:International Standards Organization (ISO)/International Electrotechnical Commission

L1:(IEC) 16022.

L0:Data qualifier? means a specified character (or string of characters) that

L0:immediately precedes a data field that defines the general category or intended use of

L0:the data that follows.

L0:DoD recognized unique identification equivalent? means a unique identification

L0:method that is in commercial use and has been recognized by DoD. All DoD recognized

L0:unique identification equivalents are listed at

L0:<https://www.acq.osd.mil/asda/dpc/ce/ds/unique-id.html>.

L0:DoD item unique identification? means a system of marking items delivered to

L0:DoD with unique item identifiers that have machine-readable data elements to

L0:distinguish an item from all other like and unlike items. For items that are serialized

L0:within the enterprise identifier, the unique item identifier shall include the data

L0:elements of the enterprise identifier and a unique serial number. For items that are

L0:serialized within the part, lot, or batch number within the enterprise identifier, the

L0:unique item identifier shall include the data elements of the enterprise identifier; the

L0:original part, lot, or batch number; and the serial number.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 11

L0:Defense FAR Supplement (DFARS) Part 211

L0:Enterprise? means the entity (e.g., a manufacturer or vendor) responsible for

L0:assigning unique item identifiers to items.

L0:Enterprise identifier? means a code that is uniquely assigned to an enterprise

L0:by an issuing agency.

L0:Government's unit acquisition cost? means?

L1:(1) For fixed-price type line, subline, or exhibit line items, the unit price

L0:identified in the contract at the time of delivery;

L1:(2) For cost-type or undefinitized line, subline, or exhibit line items, the

L0:Contractor's estimated fully burdened unit cost to the Government at the time of

L0:delivery; and

L1:(3) For items produced under a time-and-materials contract, the

L0:Contractor's estimated fully burdened unit cost to the Government at the time of

L0:delivery.

L0:Issuing agency? means an organization responsible for assigning a globally

L0:unique identifier to an enterprise, as indicated in the Register of Issuing Agency Codes

L0:for ISO/IEC 15459, located at http://www.aimglobal.org/?Reg_Authority15459.

L0:Issuing agency code? means a code that designates the registration (or
L0:controlling) authority for the enterprise identifier.

L0:Item? means a single hardware article or a single unit formed by a grouping of
L0:subassemblies, components, or constituent parts.

L0:Lot or batch number? means an identifying number assigned by the enterprise
L0:to a designated group of items, usually referred to as either a lot or a batch, all of which
L0:were manufactured under identical conditions.

L0:Machine-readable? means an automatic identification technology media, such
L0:as bar codes, contact memory buttons, radio frequency identification, or optical memory
L0:cards.

L0:Original part number? means a combination of numbers or letters assigned by
L0:the enterprise at item creation to a class of items with the same form, fit, function, and
L0:interface.

L0:Parent item? means the item assembly, intermediate component, or
L0:subassembly that has an embedded item with a unique item identifier or DoD
L0:recognized unique identification equivalent.

L0:Serial number within the enterprise identifier? means a combination of
L0:numbers, letters, or symbols assigned by the enterprise to an item that provides for the
L0:differentiation of that item from any other like and unlike item and is never used again
L0:within the enterprise.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 11

L0:Defense FAR Supplement (DFARS) Part 211

L0:Serial number within the part, lot, or batch number? means a combination of
L0:numbers or letters assigned by the enterprise to an item that provides for the
L0:differentiation of that item from any other like item within a part, lot, or batch number
L0:assignment./

L0:Serialization within the enterprise identifier? means each item produced is
L0:assigned a serial number that is unique among all the tangible items produced by the
L0:enterprise and is never used again. The enterprise is responsible for ensuring unique
L0:serialization within the enterprise identifier.

L0:Serialization within the part, lot, or batch number? means each item of a
L0:particular part, lot, or batch number is assigned a unique serial number within that
L0:part, lot, or batch number assignment. The enterprise is responsible for ensuring
L0:unique serialization within the part, lot, or batch number within the enterprise
L0:identifier.

L0:Type designation? means a combination of letters and numerals assigned by
L0:the Government to a major end item, assembly or subassembly, as appropriate, to
L0:provide a convenient means of differentiating between items having the same basic
L0:name and to indicate modifications and changes thereto.

L0:Unique item identifier? means a set of data elements marked on items that is
L0:globally unique and unambiguous. The term includes a concatenated unique item
L0:identifier or a DoD recognized unique identification equivalent.

L0:Unique item identifier type? means a designator to indicate which method of
L0:uniquely identifying a part has been used. The current list of accepted unique item

L0:identifier types is maintained at <https://www.acq.osd.mil/asda/dpc/ce/ds/unique-id.html>.

L1:(b) The Contractor shall deliver all items under a contract line, subline, or exhibit
L0:line item.

L1:(c) Unique item identifier.

L1:(1) The Contractor shall provide a unique item identifier for the following:

L1:(i) Delivered items for which the Government's unit acquisition cost is

L0:\$5,000 or more, except for the following line items:

L0:Contract Line, Subline, or

L0:Exhibit Line Item Number

L0:Item Description

L0: _____

L0: _____

L0: _____

L1:(ii) Items for which the Government's unit acquisition cost is less than

L0:\$5,000 that are identified in the Schedule or the following table:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 11

L0:Defense FAR Supplement (DFARS) Part 211

L0:Contract Line, Subline, or

L0:Exhibit Line Item Number

L0:Item Description

L0: _____

L0: _____

L0: _____

L0:(If items are identified in the Schedule, insert "See Schedule" in this table.)

L1:(iii) Subassemblies, components, and parts embedded within delivered

L0:items, items with warranty requirements, DoD serially managed reparables and DoD

L0:serially managed nonreparables as specified in Attachment Number ____.

L1:(iv) Any item of special tooling or special test equipment as defined in FAR

L0:2.101 that have been designated for preservation and storage for a Major Defense

L0:Acquisition Program as specified in Attachment Number ____.

L1:(v) Any item not included in (i), (ii), (iii), or (iv) for which the contractor

L0:creates and marks a unique item identifier for traceability.

L1:(2) The unique item identifier assignment and its component data element

L0:combination shall not be duplicated on any other item marked or registered in the DoD

L0:Item Unique Identification Registry by the contractor.

L1:(3) The unique item identifier component data elements shall be marked on an

L0:item using two dimensional data matrix symbology that complies with ISO/IEC

L0:International Standard 16022, Information technology - International symbology

L0:specification - Data matrix; ECC200 data matrix specification.

L1:(4) Data syntax and semantics of unique item identifiers. The Contractor shall

L0:ensure that?

L1:(i) The data elements (except issuing agency code) of the unique item

L0:identifier are encoded within the data matrix symbol that is marked on the item using

L0:one of the following three types of data qualifiers, as determined by the Contractor:

L1:(A) Application Identifiers (AIs) (Format Indicator 05 of ISO/IEC

L0:International Standard 15434), in accordance with ISO/IEC International Standard

L0:15418, Information Technology - EAN/UCC Application Identifiers and Fact Data

L0:Identifiers and Maintenance and ANSI MH 10.8.2 Data Identifier and Application

L0:Identifier Standard.

L1:(B) Data Identifiers (DIs) (Format Indicator 06 of ISO/IEC

L0:International Standard 15434), in accordance with ISO/IEC International Standard

L0:15418, Information Technology - EAN/UCC Application Identifiers and Fact Data

L0:Identifiers and Maintenance and ANSI MH 10.8.2 Data Identifier and Application

L0:Identifier Standard.

L0:International Standard 15434), in accordance with the Air Transport Association

L1:(C) Text Element Identifiers (TEIs) (Format Indicator 12 of ISO/IEC

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 11

L0:Defense FAR Supplement (DFARS) Part 211

L0:Common Support Data Dictionary; and

L1:(ii) The encoded data elements of the unique item identifier conform to the

L0:transfer structure, syntax, and coding of messages and data formats specified for

L0:Format Indicators 05, 06, and 12 in ISO/IEC International Standard 15434,

L0:Information Technology - Transfer Syntax for High Capacity Automatic Data Capture

L0:Media.

L1:(5) Unique item identifier.

L1:(i) The Contractor shall?

L1:(A) Determine whether to?

L1:(1) Serialize within the enterprise identifier;

L1:(2) Serialize within the part, lot, or batch number; or

L0:Vehicle Identification Number); and

L1:(3) Use a DoD recognized unique identification equivalent (e.g.

L1:(B) Place the data elements of the unique item identifier (enterprise

L0:identifier; serial number; DoD recognized unique identification equivalent; and for

L0:serialization within the part, lot, or batch number only: original part, lot, or batch

L0:number) on items requiring marking by paragraph (c)(1) of this clause, based on the

L0:criteria provided in MIL-STD-130, Identification Marking of U.S. Military Property,

L0:latest version;

L1:(C) Label shipments, storage containers and packages that contain

L0:uniquely identified items in accordance with the requirements of MIL-STD-129,

L0:Military Marking for Shipment and Storage, latest version; and

L1:(D) Verify that the marks on items and labels on shipments, storage

L0:containers, and packages are machine readable and conform to the applicable

L0:standards. The contractor shall use an automatic identification technology device for

L0:this verification that has been programmed to the requirements of Appendix A, MIL-

L0:STD-130, latest version.

L1:(ii) The issuing agency code?

L1:(A) Shall not be placed on the item; and

L1:(B) Shall be derived from the data qualifier for the enterprise identifier.

L1:(d) For each item that requires item unique identification under paragraph (c)(1)(i), L1:(ii), or (iv) of this clause or when item unique identification is provided under paragraph L3:(c)(1)(v), in addition to the information provided as part of the Material Inspection and L0:Receiving Report specified elsewhere in this contract, the Contractor shall report at the L0:time of delivery, as part of the Material Inspection and Receiving Report, the following L0:information:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 11

L0:Defense FAR Supplement (DFARS) Part 211

L1:(1) Unique item identifier.

L1:(2) Unique item identifier type.

L1:(3) Issuing agency code (if concatenated unique item identifier is used).

L1:(4) Enterprise identifier (if concatenated unique item identifier is used).

L1:(5) Original part number (if there is serialization within the original part L0:number).

L1:(6) Lot or batch number (if there is serialization within the lot or batch L0:number).

L1:(7) Current part number (optional and only if not the same as the original part L0:number).

L1:(8) Current part number effective date (optional and only if current part L0:number is used).

L1:(9) Serial number (if concatenated unique item identifier is used).

L1:(10) Government's unit acquisition cost.

L1:(11) Unit of measure.

L1:(12) Type designation of the item as specified in the contract schedule, if any.

L1:(13) Whether the item is an item of Special Tooling or Special Test Equipment.

L1:(14) Whether the item is covered by a warranty.

L1:(e) For embedded subassemblies, components, and parts that require DoD item L0:unique identification under paragraph (c)(1)(iii) of this clause or when item unique L0:identification is provided under paragraph (c)(1)(v), the Contractor shall report as part L0:of the Material Inspection and Receiving Report specified elsewhere in this contract, the L0:following information:

L1:(1) Unique item identifier of the parent item under paragraph (c)(1) of this L0:clause that contains the embedded subassembly, component, or part.

L1:(2) Unique item identifier of the embedded subassembly, component, or part.

L1:(3) Unique item identifier type.**

L1:(4) Issuing agency code (if concatenated unique item identifier is used).**

L1:(5) Enterprise identifier (if concatenated unique item identifier is used).**

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 11

L0:Defense FAR Supplement (DFARS) Part 211

L1:(6) Original part number (if there is serialization within the original part L0:number).**

L1:(7) Lot or batch number (if there is serialization within the lot or batch L0:number).**

L1:(8) Current part number (optional and only if not the same as the original part L0:number).**

L1:(9) Current part number effective date (optional and only if current part
L0:number is used).**
L1:(10) Serial number (if concatenated unique item identifier is used).**
L1:(11) Description.
L0:** Once per item.
L1:(f) The Contractor shall submit the information required by paragraphs (d) and (e)
L0:of this clause as follows:
L1:(1) End items shall be reported using the receiving report capability in Wide
L0:Area WorkFlow (WAWF) in accordance with the clause at 252.232-7003. If WAWF is
L0:not required by this contract, and the contractor is not using WAWF, follow the
L0:procedures at <http://dodprocurementtoolbox.com/site/uidregistry/>.
L1:(2) Embedded items shall be reported by one of the following methods?
L1:(i) Use of the embedded items capability in WAWF;
L1:(ii) Direct data submission to the IUID Registry following the procedures
L0:and formats at <http://dodprocurementtoolbox.com/site/uidregistry/>; or
L1:(iii) Via WAWF as a deliverable attachment for exhibit line item number
L0:(fill in) ____, Unique Item Identifier Report for Embedded Items, Contract Data
L0:Requirements List, DD Form 1423.
L1:(g) Subcontracts. If the Contractor acquires by subcontract, any item(s) for which
L0:item unique identification is required in accordance with paragraph (c)(1) of this clause,
L0:the Contractor shall include this clause, including this paragraph (g), in the applicable
L0:subcontract(s), including subcontracts for commercial products or commercial services.

252.211-7004 Reserved

Status: active

L0:252.211-7004 Reserved.

252.211-7005 Reserved

Status: active

L0:252.211-7005 Reserved.

252.211-7006 Reserved

Status: active

L0:252.211-7006 Reserved.
L0:(End of clause)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 11
L0:Defense FAR Supplement (DFARS) Part 211

252.211-7007 Reserved

L0:252.211-7007 Reserved.

252.211-7008 Use of Government-Assigned Serial Numbers

Status: active

L0:252.211-7008 Use of Government-Assigned Serial Numbers

L0:As prescribed in 211.274-5(b), use the following clause:

L0:USE OF GOVERNMENT-ASSIGNED SERIAL NUMBERS (SEP 2010)

L1:(a) Definitions. As used in this clause?

L0:Government-assigned serial number? means a combination of letters or

L0:numerals in a fixed human-readable information format (text) conveying information

L0:about a major end item, which is provided to a contractor by the requiring activity with

L0:accompanying technical data instructions for marking the Government-assigned serial

L0:number on major end items to be delivered to the Government.

L0:Major end item? means a final combination of component parts and/or

L0:materials which is ready for its intended use and of such importance to operational

L0:readiness that review and control of inventory management functions (procurement,

L0:distribution, maintenance, disposal, and asset reporting) is required at all levels of life

L0:cycle management. Major end items include aircraft; ships; boats; motorized wheeled,

L0:tracked, and towed vehicles for use on highway or rough terrain; weapon and missile

L0:end items; ammunition; and sets, assemblies, or end items having a major end item as a

L0:component.

L0:Unique item identifier (UII)? means a set of data elements permanently

L0:marked on an item that is globally unique and unambiguous and never changes in

L0:order to provide traceability of the item throughout its total life cycle. The term

L0:includes a concatenated UII or a DoD-recognized unique identification equivalent.

L1:(b) The Contractor shall mark the Government-assigned serial numbers on those

L0:major end items as specified by line item in the Schedule, in accordance with the

L0:technical instructions for the placement and method of application identified in the

L0:terms and conditions of the contract.

L1:(c) The Contractor shall register the Government-assigned serial number along with

L0:the major end item's UII at the time of delivery in accordance with the provisions of the

L0:clause at DFARS 252.211-7003(d).

L1:(d) The Contractor shall establish the UII for major end items for use throughout

L0:the life of the major end item. The Contractor may elect, but is not required, to use the

L0:Government-assigned serial number to construct the UII.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 11

L0:Defense FAR Supplement (DFARS) Part 211

L0:PGI 211?DESCRIBING AGENCY NEEDS

L0:PGI 211.2?SELECTING AND DEVELOPING REQUIREMENTS DOCUMENTS

L0:PGI 211.204 Items peculiar to one manufacturer.

L0:Office of Federal Procurement Policy memorandum of April 11, 2005, Subject: Use of
L0:Brand Name Specifications, reinforces the need to maintain vendor and technology
L0:neutral contract specifications, and asks agencies to publish the supporting justification
L0:when using brand name specifications in a solicitation.

L0:Office of Federal Procurement Policy memorandum of April 17, 2006, Subject:
L0:Publication of Brand Name Justifications, provides additional guidance regarding
L0:publication of justifications for use of brand name specifications.

L0:PGI 211.273 -USING AND MAINTAINING REQUIREMENTS DOCUMENTS

L0:PGI 211.273-1 Identification and availability of specifications.

L1:(1) Specifications, standards, and data item descriptions are indexed in the

L0:Acquisition Streamlining and Standardization Information System (ASSIST).

L1:(2) Most unclassified specifications, standards, and data item descriptions, and

L0:DoD adoption notices on voluntary consensus standards may be downloaded from the

L0:ASSIST database (<https://assist.dla.mil> or <http://quicksearch.dla.mil>). Documents

L0:contained in ASSIST that are not available for download may be identified and obtained

L0:by following the instructions at <http://assist.dla.mil/online/faqs/overview.cfm> .

L0:PGI 211.70 -PURCHASE REQUESTS

L0:PGI 211.7001 Procedures.

L0:Requiring activities are responsible for developing and distributing purchase requests,

L0:except for the requirements for Military Interdepartmental Purchase Requests (MIPRs)

L0:(DD Form 448) addressed in 253.208-1 .

L1:(a) Agencies may use a combined numbering series for MIPRs and internal

L0:purchase requests, following the rules at 253.208-1 (c)(1) for both. If using a separate

L0:numbering sequence for internal purchase requests, agencies must have procedures

L0:that ensure the same number cannot be assigned to both a MIPR and an internal

L0:purchase request. Use of a purely internal tracking number in addition to the purchase

L0:request number is authorized and supported by the data standards. Number the

L0:purchase request by using?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 11

L0:Defense FAR Supplement (DFARS) Part 211

L1:(1) The requiring activity?s Department of Defense Activity Address Code

L1:(DODAAC), as described in DLM 4000.25 Volume 6, Chapter 2. DODAACs may be

L0:verified at https://home.daas.dla.mil/eDoDAAD/s_search/search_menu.asp.

L1:(2) A serial number of eight alphanumeric characters, excluding ?I? and ?O?; and

L1:(3) A revision number, with the original request being assigned zero and

L0:subsequent revisions or amendments being numbered consecutively.

L1:(b) Prior to taking action on a purchase request, contracting officers must ensure

L0:that the requiring activity has prepared the purchase requests in uniform contract format

L0:(see FAR 14.201-1 and 15.109), except for procurement of construction (see part 36),

L0:which should follow the current edition of the Construction Specifications Institute

L0:format. Purchase requests shall include all supporting documentation required by local

L0:contract procedures.

L1:(c) Prior to taking action on a purchase request, contracting officers must ensure that

L0:the purchase requests follow the line item rules and data requirements in

L0:DFARS 204.71 . Purchase requests for individual supplies (i.e., not bulk commodities
L0:such as oil) must identify whether the item to be acquired is subject to the item unique
L0:identification requirements of DFARS 211.274-2.

L2:(d)(1) Purchase requests may be unfunded for planning purposes, partially funded,
L0:or fully funded.

L1:(2) Funding data in purchase requests will, at a minimum, identify the following
L0:elements of the funding source: Department Code (e.g. 21 Army), Main Account (e.g.
L0:1804, Operation and Maintenance, Navy), Subaccount (where applicable), and Fiscal
L0:Year. Lists of these codes are published in Supplement 1 to Volume I of the Treasury
L0:Financial Manual, Federal Account Symbols and Titles, generally referred to as The
L0:FAST Book at <https://tfx.treasury.gov/reference-books/fast-book>.

L1:(3) Agencies must have sufficient procedures in place to enable traceability of
L0:line items identified in the purchase request to those in the resulting contract. In
L0:developing such procedures, agencies must ensure that provisions are made for
L0:circumstances in which the deliverables may be more completely defined during the
L0:process of soliciting offers and making an award.

L1:(e) Contracting officers must not obligate funds that have not been certified as
L0:currently available and suitable. Review purchase requests to ensure they are certified
L0:after agreement on price and prior to award to ensure that the funds are?

L1:(1) Suitable and available for the purpose and amount of the contract; and

L1:(2) Traceable from the purchase request to the resultant contract.

L1:(f) Purchase requests transmitted between requiring systems and contract writing
L0:systems must be transmitted via the Global EXchange system (GEX) using the
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 11
L0:Defense FAR Supplement (DFARS) Part 211

L0:Purchase Request Data Standard Extensible Markup Language (XML) format

L0:at <https://www.acq.osd.mil/asda/dpc/ce/ds/procurement-data-standard.html> . Copies

L0:must be sent via the GEX to the Electronic Data Access (EDA) system

L0:at <http://eda.ogden.disa.mil> . Requiring systems and contract writing systems may use a

L0:format that can be translated to or from the purchase request Data Standard (XML)

L0:format.

PART 12

SUBPART 212.72 ? APPLICABILITY OF CERTAIN LAWS, PROVISIONS,

Status: active

L0:SUBPART 212.72?APPLICABILITY OF CERTAIN LAWS, PROVISIONS,
L0:AND CLAUSES TO THE ACQUISITION OF COMMERCIAL PRODUCTS,
L0:COMMERCIAL SERVICES, AND COMMERCIALLY AVAILABLE OFF-THE-
L0:SHELF ITEMS

212.001-70 Applicability

Status: active

L0:212.001-70 Applicability.

L1:(a) FAR part 12 procedures. Use of FAR part 12 procedures is based on applicability
L0:of one of the following statutes that provide for treatment as a commercial product or
L0:commercial service and use of FAR part 12 procedures, even though the item may not
L0:meet the definition of ?commercial product? or ?commercial service? at FAR 2.101 and
L0:does not require a commercial product or commercial service determination:

L1:(1) 41 U.S.C. 1903 - Supplies or services to be used to facilitate defense against
L0:or recovery from cyber, nuclear, biological, chemical, or radiological attack pursuant to
L0:FAR 12.001(b).

L1:(2) 10 U.S.C. 3457 - Supplies or services from nontraditional defense
L0:contractors pursuant to paragraph (d) of this section.

L1:(3) 10 U.S.C. 3458 - Supplies or services resulting from a commercial solutions
L0:opening pursuant to subpart 212.70.

L1:(b) Prior commercial product or commercial service determinations.

L1:(1) Pursuant to 10 U.S.C. 3456(c), except as provided in paragraph (b)(2)(i) of
L0:this section or unless the item was acquired pursuant to paragraph (a) of this section, if
L0:the Commercial Item Database (for website see PGI 212.001-70(b)(A)(1) contains a prior
L0:commerciality determination, or the contracting officer has other evidence that an item
L0:has previously been acquired by DoD using commercial product and commercial service
L0:acquisition procedures under FAR part 12, then the prior contract must serve as a prior
L0:determination that an item is a commercial product or commercial service. The
L0:contracting officer must document the file accordingly.

L2:(2)(i) If the item to be acquired meets the criteria in paragraph (b)(1) of this
L0:section, the item may not be acquired using other than FAR part 12 procedures
L0:unless the head of the contracting activity issues a determination as specified in
L0:paragraph (b)(2)(ii)(B) of this section.

L1:(ii) Pursuant to 10 U.S.C. 3703(d)(1), the contracting officer may presume
L0:that a prior commercial product or commercial service determination made by a DoD
L0:department, agency, or component serves as a determination for subsequent
L0:procurements of such item. In accordance with 10 U.S.C. 3703(d) and 10 U.S.C.

L0:3456(c), if the contracting officer questions a prior determination to use FAR part 12 L0:procedures and instead chooses to proceed with a procurement of an item previously L0:determined to be a commercial product or commercial service using procedures other L0:than FAR part 12 procedures, the contracting officer must request a review by the head L0:of the contracting activity that will conduct the procurement. Not later than 30 days L0:after receiving a request for review, the head of the contracting activity will?

L0:appropriate and still applicable; or

L1:(A) Confirm that the prior use of FAR part 12 procedures was

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L1:(B) Issue a determination that the prior use of FAR part 12 procedures

L0:was improper or that it is no longer appropriate to acquire the item using FAR part 12

L0:procedures, with a written explanation of the basis for the determination.

L1:(c) Commercial product or commercial service determination. Unless the procedures

L0:in paragraph (b) of this section are applicable, when using FAR part 12 procedures for

L0:acquisitions of commercial products and commercial services that exceed the simplified

L0:acquisition threshold, the contracting officer must?

L1:(1) Determine in writing that the acquisition meets the ?commercial product? or

L0:?commercial service? definition in FAR 2.101;

L1:(2) Include the written determination in the contract file;

L1:(3) Obtain approval at one level above the contracting officer when a

L0:commercial product or commercial service determination relies on paragraphs (1)(ii),

L1:(3), or (4) of the ?commercial product? definition at FAR 2.101 or paragraph (2) of the

L0:?commercial service? definition at FAR 2.101; and

L1:(4) Follow the procedures and guidance at PGI 212.001-70(b) regarding file

L0:documentation and commercial product or commercial service determinations.

L1:(d) Nontraditional defense contractors. In accordance with 10 U.S.C. 3457,

L0:contracting officers?

L1:(1) Except as provided in paragraph (d)(2) of this section, may treat supplies

L0:and services provided by nontraditional defense contractors as commercial products or

L0:commercial services (see PGI 212.001-70(d)(1));

L1:(2) Will treat services provided by a business unit that is a nontraditional

L0:defense contractor as commercial services, to the extent that such services use the same

L0:pool of employees as used for commercial customers and are priced using methodology

L0:similar to methodology used for commercial pricing; and

L1:(3) Will document the file when treating supplies or services from a

L0:nontraditional defense contractor as commercial products or commercial services in

L0:accordance with paragraph (d)(1) or (2) of this section.

L1:(e) Commercial item guidebook. For a link to the commercial item guidebook, see

L0:PGI 212.001-70.

212.070 Definition

Status: active

L0:212.070 Definition.

L0:As used in this part?

L0:“Market research” means a review of existing systems, subsystems, capabilities, and technologies that are available or could be made available to meet the needs of DoD in whole or in part. The review must include, at a minimum, contacting knowledgeable individuals in Government and industry regarding existing market capabilities and pricing information, and may include any of the techniques for conducting market research provided in FAR part 10 (section 855 of the National Defense Authorization Act for Fiscal Year 2016 (Pub. L. 114-92)).

212.102-70 Restricting competition. See PGI 212.102-70 for guidance on promoting

Status: active

L0:212.102-70 Restricting competition. See PGI 212.102-70 for guidance on promoting competition.

L1:(a) For non-competitive follow-on acquisitions of supplies or services previously awarded on a non-competitive basis, include the additional documentation required by

206.104-71 and follow the procedures at PGI 206.104-71

Status: active

L0:206.104-71 and follow the procedures at PGI 206.104-71.

L1:(b) In accordance with section 888(a) of the National Defense Authorization Act for Fiscal Year 2017 (Pub. L. 114-328), the documentation addressed in FAR 12.102 is required to use brand name or equal descriptions or proprietary specifications and standards.

212.102-71 Only one offer

Status: active

L0:212.102-71 Only one offer.

L0:If only one offer is received in response to a competitive solicitation issued using simplified acquisition procedures for commercial products and commercial services, follow the procedures at 215.202-71.

212.104-70 Contract type

Status: active

L0:212.104-70 Contract type.

L0:In accordance with section 805 of the National Defense Authorization Act for Fiscal

L0:Year 2008 (Pub. L. 110-181), use of time-and-materials and labor-hour contracts for the
L0:acquisition of commercial services is authorized only for the following:
L1:(a) Services acquired for support of a commercial product, as described in paragraph
L1:(1) of the definition of "commercial service" at FAR 2.101 (41 U.S.C. 103a).
L1:(b) Emergency repair services.
L1:(c) Any other commercial services only to the extent that the head of the agency
L0:concerned approves a written determination by the contracting officer that?
L1:(1) The services to be acquired are commercial services as defined in paragraph
L1:(2) of the definition of "commercial service" at FAR 2.101 (41 U.S.C. 103a);
L1:(2) If the services to be acquired are subject to FAR 15.403-2, the offeror of the
L0:services has submitted sufficient information in accordance with that subsection;
L1:(3) Such services are commonly sold to the public through use of time-and-
L0:materials or labor-hour contracts; and
L1:(4) The use of a time-and-materials or labor-hour contract type is in the best
L0:interest of the Government.

212.106 Technical data

Status: active

L0:212.106 Technical data.
L0:The DoD policy for acquiring technical data for commercial products or commercial
L0:services is at 227.7102.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12
L0:Defense FAR Supplement (DFARS) Part 212

212.107-70 Computer software

Status: active

L0:212.107-70 Computer software.
L1:(a) Departments and agencies must identify and evaluate, at all stages of the
L0:acquisition process (including concept refinement, concept decision, and technology
L0:development), opportunities for the use of commercial computer software and other non-
L0:developmental software in accordance with Section 803 of the National Defense
L0:Authorization Act for Fiscal Year 2009 (Pub. L. 110-417).
L1:(b) See Subpart 208.74 when acquiring commercial software or software
L0:maintenance. See 227.7202 for policy on the acquisition of commercial computer
L0:software and commercial computer software documentation.

212.170 Major weapon systems as commercial products

Status: active

L0:212.170 Major weapon systems as commercial products.
L0:The DoD policy for acquiring major weapon systems as commercial products is in

L0:subpart 234.70.

212.171 Limitation on acquisition of right-hand drive passenger sedans

Status: active

L0:212.171 Limitation on acquisition of right-hand drive passenger sedans.
L0:10 U.S.C. 2253(a)(2) limits the authority to purchase right-hand drive passenger sedans
L0:to a cost of not more than \$55,000 per vehicle.

212.172 Preference for certain commercial products and commercial services

Status: active

L0:212.172 Preference for certain commercial products and commercial services.
L1:(a) As required by section 855 of the National Defense Authorization Act for Fiscal
L0:Year 2016 (Pub. L. 114-92), for requirements relating to the acquisition of commercial
L0:information technology products and services, see 239.101.
L2:(b)(1) As required by section 876 of the National Defense Authorization Act of Fiscal
L0:Year 2017 (Pub. L. 114-328), a contracting officer may not enter into a contract above
L0:the simplified acquisition threshold for facilities-related services, knowledge-based
L0:services (except engineering services), medical services, or transportation services that
L0:are not commercial services unless the appropriate official specified in paragraph (b)(2)
L0:of this section determines in writing that no commercial services are suitable to meet
L0:the agency's needs as provided in 10 U.S.C. 3453(c)(2).
L1:(2) The following officials are authorized to make the determination specified in
L0:paragraph (b)(1) of this section:
L1:(i) For contracts above \$10 million, the head of the contracting activity, the
L0:combatant commander of the combatant command concerned, or the Under Secretary of
L0:Defense for Acquisition and Sustainment (as applicable).
L1:(ii) For contracts in an amount above the simplified acquisition
L0:threshold and at or below \$10 million, the contracting officer.

212.173 Procedures for solicitation

Status: active

L0:212.173 Procedures for solicitation.
L1:(a) See 215.103-270 for the limitations and prohibitions on the use of the lowest
L0:price technically acceptable source selection process, which are applicable to the
L0:acquisition of commercial products and commercial services.
L1:(b) See 217.7801 for the prohibition on the use of reverse auctions for personal
L0:protective equipment and aviation critical safety items.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12
L0:Defense FAR Supplement (DFARS) Part 212
L1:(c) See 204.7603 for procedures on the required use of Supplier Performance Risk

L0: System risk assessments as part of the award decision.

L1:(d) See subpart 212.70 for acquisitions resulting from a commercial solutions

L0: opening.

L1:(e) See 215.103-170 and 225.7024 for the acquisition of fuel for overseas contingency

L0: operations.

L1:(f) See the procedures at PGI 205.102-70 for use of the Solicitation Module within

L0: the Procurement Integrated Enterprise Environment.

L1:(g) See limitations on the use of tiered evaluation of offers at 215.102-70.

212.201 Solicitation procedures

Status: active

L0: 212.201 Solicitation procedures.

212.201-1 Simplified procedures

Status: active

L0: 212.201-1 Simplified procedures.

L1:(e) Other flexibilities.

L1:(3) Blanket purchase agreement. See PGI 212.201-1 Simplified Procedures.

212.203 Evaluation

Status: active

L0: 212.203 Evaluation.

L3:(a)(1)(i) Include an evaluation factor regarding supply chain risk (see subpart

L0: 239.70) when acquiring information technology, whether as a service or as a supply,

L0: that is a covered system, is a part of a covered system, or is in support of a covered

L0: system, as defined in 239.7001.

L1:(ii) When acquiring transportation or transportation related services, see

L0: PGI 212.203.

212.204 Award

Status: active

L0: 212.204 Award.

L1:(a) Price reasonableness.

L1:(1) In accordance with 10 U.S.C. 3453(d), agencies must conduct or obtain

L0: market research to support the determination of the reasonableness of price for

L0: commercial products and commercial services contained in any bid or offer submitted in

L0: response to an agency solicitation. To the extent necessary to support such market

L0: research, the contracting officer?

L1:(i) In the case of major weapon systems, for subsystems of major weapon
L0:systems and components and spare parts of major weapon systems and of subsystems of
L0:major weapon systems acquired as commercial products in accordance with subpart
L0:234.70, must use information submitted under 234.7002(e); and
L1:(ii) In the case of other items, may require the offeror to submit other
L0:relevant information.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12
L0:Defense FAR Supplement (DFARS) Part 212
L1:(2) If the contracting officer determines that the information obtained through
L0:market research pursuant to paragraph (1) of this section is insufficient to determine
L0:the reasonableness of price, the contracting officer must consider information submitted
L0:by the offeror of recent purchase prices paid by the Government and commercial
L0:customers for the same or similar commercial products or commercial services under
L0:comparable terms and conditions in establishing price reasonableness on a subsequent
L0:purchase if the contracting officer is satisfied that the prices previously paid remain a
L0:valid reference for comparison. In assessing whether the prices previously paid remain
L0:a valid reference for comparison, the contracting officer must consider the totality of
L0:other relevant factors such as the time elapsed since the prior purchase and any
L0:differences in the quantities purchased (10 U.S.C. 3703(e)).
L1:(3) If the contracting officer determines that the offeror cannot provide
L0:sufficient information as described in paragraph (2) of this section to determine the
L0:reasonableness of price, the contracting officer should request the offeror to submit
L0:information on?
L1:(i) Prices paid for the same or similar items sold under different terms and
L0:conditions;
L1:(ii) Prices paid for similar levels of work or effort on related products or
L0:services;
L1:(iii) Prices paid for alternative solutions or approaches; and
L1:(iv) Other relevant information that can serve as the basis for determining
L0:the reasonableness of price.
L1:(4) The contracting officer is not restricted from requiring the contractor to
L0:supply sufficient information to determine the reasonableness of price, regardless of
L0:whether or not the contractor was required to provide such information in connection
L0:with any earlier procurement. If the contracting officer determines that the pricing
L0:information submitted is not sufficient to determine the reasonableness of price, the
L0:contracting officer should request other information regarding the basis for price or cost,
L0:including uncertified cost or pricing data such as labor costs, material costs, and other
L0:direct and indirect costs.

212.205 Solicitation provisions and contract clauses

Status: active

L0:212.205 Solicitation provisions and contract clauses.
L0:See DoD Class Deviation 2023-O0008, Commercial Products and Commercial Services

L0:Omnibus Clause for Acquisitions Using the Procurement Desktop-Defense System,
L0:issued September 18, 2023. This class deviation allows the contracting officer to use the
L0:PD2 clause logic capability to automatically select the clauses that are applicable to the
L0:specific solicitation and contract. The contracting officer must ensure that the deviation
L0:clause is incorporated into these solicitations and contracts because the deviation clause
L0:fulfills the statutory requirements on auditing and subcontract clauses applicable to
L0:commercial products and commercial services. The deviation also authorizes
L0:adjustments to the deviation clause required by future changes to the clause at FAR

52.212-5 that are published in the FAR. This deviation is effective for 3 years, or until

Status: active

L0:52.212-5 that are published in the FAR. This deviation is effective for 3 years, or until
L0:otherwise rescinded.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12
L0:Defense FAR Supplement (DFARS) Part 212
L1:(a) Required Provisions. Refer to Table 212.2 for a list of provisions to be included in
L0:solicitations for commercial products and commercial services.
L0:Number

252.203-7005 Representation Relating to Compensation of

Status: active

L0:252.203-7005 Representation Relating to Compensation of
L0:Title
L0:Former DoD Officials
L0:TABLE 212.2

252.204-7019 Notice of NIST SP 800-171 DoD Assessment

Status: active

L0:252.204-7019 Notice of NIST SP 800-171 DoD Assessment
L0:Requirements

252.204-7024 Notice on the Use of the Supplier Performance

Status: active

L0:252.204-7024 Notice on the Use of the Supplier Performance
L0:252.209-7021
L0:Risk System
L0:Prohibition Relating to Conflicts of Interest in
L0:Consulting Services?Certification

252.215-7008 Only One Offer

Status: active

L0:252.215-7008 Only One Offer

252.215-7010 Requirements for Certified Cost or Pricing Data

Status: active

L0:252.215-7010 Requirements for Certified Cost or Pricing Data

L0:and Data Other Than Certified Cost or Pricing

L0:Data

252.215-7016 Notification to Offerors?Postaward Debriefings

Status: active

L0:252.215-7016 Notification to Offerors?Postaward Debriefings

252.219-7000 Advancing Small Business Growth

Status: active

L0:252.219-7000 Advancing Small Business Growth

252.225-7000 Buy American?Balance of Payments Program

Status: active

L0:252.225-7000 Buy American?Balance of Payments Program

L0:252.225-7020

L0:Certificate

L0:Trade Agreements Certificate

L0:252.225-7031

L0:Secondary Arab Boycott of Israel

252.225-7035 Buy American?Free Trade Agreements?

Status: active

L0:252.225-7035 Buy American?Free Trade Agreements?

L0:Balance of Payments Program Certificate

252.225-7050 Disclosure of Ownership or Control by the

Status: active

L0:252.225-7050 Disclosure of Ownership or Control by the
L0:Government of a Country that is a State Sponsor
L0:of Terrorism

252.225-7055 Representation Regarding Business Operations

Status: active

L0:252.225-7055 Representation Regarding Business Operations
L0:with the Maduro Regime
L0:Source
L0:Section 847
L0:of FY 2008

L0:NDAA

L0:Federal CUI
L0:standards
L0:Other
L0:Section 812
L0:of the FY

L0:2024 NDAA

L0:(Pub. L. 118-

L0:31

L0:10 USC

L0:3703(a)(1)(A)

L0:10 USC

L0:3705

L0:Section 818
L0:of the FY

L0:2018 NDAA

L0:10 U.S.C.

L0:4959

L0:41 U.S.C.

L0:chapter 83

L0:19 U.S.C.

L0:2501-2518

L0:10 U.S.C.

L0:4659

L0:41 U.S.C.

L0:chapter 83

L0:10 U.S.C.

L0:4871(b)

L0:Section 890

L0:of FY 2020

L0:NDAA

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L0:252.225-7059

L0:Prohibition on Certain Procurements from the

L0:Xinjiang Uyghur Autonomous Region?

L0:Representation

L0:Section 855

L0:of FY 2023

L0:NDAA

L1:(b) Required Clauses. Refer to Table 212.3 for a list of clauses to be included in

L0:contracts for commercial products and commercial services.

L0:Number

L0:52.203-3

L0:Title

L0:Gratuities

L0:TABLE 212.3

252.203-7000 Requirements Relating to Compensation of Former

Status: active

L0:252.203-7000 Requirements Relating to Compensation of Former

L0:DoD Officials

252.203-7002 Requirement to Inform Employees of

Status: active

L0:252.203-7002 Requirement to Inform Employees of

252.204-7020 DoD Assessment Requirements

Status: active

L0:252.204-7020 DoD Assessment Requirements

L0:Whistleblower Rights

252.204-7021 Cybersecurity Maturity Model Certification

Status: active

L0:252.204-7021 Cybersecurity Maturity Model Certification

L0:Requirements

252.204-7022 Expediting Contract Closeout

Status: active

L0:252.204-7022 Expediting Contract Closeout

252.204-7023 Reporting Requirements for Contracted Services

Status: active

L0:252.204-7023 Reporting Requirements for Contracted Services

L0:252.205-7000

L0:Provision of Information to Cooperative Agreement

L0:Holdings

L0:Item Unique Identification and Valuation

L0:252.211-7003

252.211-7008 Use of Government-Assigned Serial Numbers

Status: active

L0:252.211-7008 Use of Government-Assigned Serial Numbers

L0:252.216-7010

L0:Postaward Debriefings for Task Orders and

L0:Delivery Orders

L0:252.219-7003

L0:Small Business Subcontracting Plan (DoD

L0:Contracts)

L0:Prohibition of Hexavalent Chromium

L0:252.223-7008

252.225-7001 Buy American and Balance of Payments Program

Status: active

L0:252.225-7001 Buy American and Balance of Payments Program

L0:252.225-7012

L0:Preference for Certain Domestic Commodities

L0:252.225-7021

L0:Trade Agreements

252.225-7036 Buy American?Free Trade Agreements?Balance

Status: active

L0:252.225-7036 Buy American?Free Trade Agreements?Balance

L0:of Payments Program

L0:Source

L0:10 U.S.C.

L0:4651

L0:Section 847

L0:of FY 2008

L0:NDAA

L0:10 USC

L0:4701

L0:DOD CUI

L0:Standards

L0:DOD Cyber

L0:Standards

L0:Other

L0:10 U.S.C.

L0:4505

L0:10 U.S.C.

L0:4957

L0:Other

L0:Other

L0:Section 818

L0:of the FY

L0:2018

L0:NDAA

L0:15 U.S.C.

L0:637

L0:Other

L0:41 U.S.C.

L0:chapter 83

L0:10 U.S.C.

L0:4862

L0:19 U.S.C.

L0:2501-2518

L0:41 U.S.C.

L0:chapter 83

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

252.225-7052 Restriction on the Acquisition of Certain Magnets,

Status: active

L0:252.225-7052 Restriction on the Acquisition of Certain Magnets,

L0:252.225-7056

L0:Tantalum, and Tungsten

L0:Prohibition Regarding Business Operations with
L0:the Maduro Regime

L0:252.225-7060

L0:Prohibition on Certain Procurements from the
L0:Xinjiang Uyghur Autonomous Region

252.226-7001 Utilization of Indian Organizations, Indian-Owned

Status: active

L0:252.226-7001 Utilization of Indian Organizations, Indian-Owned
L0:Economic Enterprises, and Native Hawaiian Small
L0:Business Concerns
L0:Technical Data-Commercial Products and
L0:Commercial Services

252.227-7037 Validation of Restrictive Markings on

Status: active

L0:252.227-7037 Validation of Restrictive Markings on
L0:252.227-7015
L0:252.232-7003
L0:Technical Data
L0:Electronic Submission of Payment Requests and
L0:Receiving Reports

252.232-7006 Wide Area WorkFlow Payment Instructions

Status: active

L0:252.232-7006 Wide Area WorkFlow Payment Instructions
L0:252.232-7010
L0:Levies on Contract Payments
L0:252.237-7010
L0:Prohibition on Interrogation of Detainees by
L0:Contractor Personnel
L0:252.237-7019
L0:Training for Contractor Personnel Interacting with
L0:Detainees

252.243-7002 Requests for Equitable Adjustment

Status: active

L0:252.243-7002 Requests for Equitable Adjustment

L0:252.244-7000

L0:Subcontracts for Commercial Products and

L0:Commercial Services

L0:252.247-7023

L0:Transportation of Supplies by Sea

252.247-7028 Application for U.S. Government Shipping

Status: active

L0:252.247-7028 Application for U.S. Government Shipping

L0:Documentation/Instructions

L0:10 U.S.C.

L0:4872

L0:Section 890

L0:of FY 2020

L0:NDAA

L0:Section 855

L0:of FY 2023

L0:NDAA

L0:Recurring

L0:Approps.

L0:10 USC

L0:3772

L0:10 USC

L0:3781

L0:10 USC

L0:4601

L0:Other

L0:26 USC

L0:6331(h)

L0:Section

L0:1038 of FY

L0:2010

L0:NDAA

L0:Section

L0:1092 of FY

L0:2005

L0:NDAA

L0:10 USC

L0:3862

L0:Section 874

L0:of FY 2017

L0:NDAA

L0:10 U.S.C.

L0:2631(a)

L0:Other

212.205-70 Provisions and clauses required in limited categories of

Status: active

L0:212.205-70 Provisions and clauses required in limited categories of

L0:contracts and solicitations.

L0:Refer to Table 212.4 for a list of clauses to be included in specified categories of

L0:contracts for commercial products and commercial services.

L0:TABLE 212.4

L0:Number

L0:252.204-7004

L0:252.204-7008

L0:252.204-7009

L0:252.204-7012

L0:252.204-7014

L0:252.204-7015

L0:252.204-7016

L0:252.204-7017

L0:252.204-7018

L0:252.209-7011

L0:252.215-7003

L0:252.215-7004

L0:252.219-7004

L0:252.219-7012

L0:252.223-7009

L0:252.225-7006

L0:252.225-7007

L0:252.225-7008

L0:252.225-7009

L0:252.225-7010

L0:252.225-7015

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L0:Title

L0:Contracts Providing Access to DoD

L0:Classified Systems

L0:Contracts Providing Access to DoD

L0:Classified Systems

L0:Contracts Providing Access to DoD
L0:Classified Systems
L0:Contracts Providing Access to DoD
L0:Classified Systems
L0:Litigation Support Contracts
L0:Litigation Support Contracts
L0:Support to Nuclear Deterrence and
L0:Missile Defense Contracts
L0:Support to Nuclear Deterrence and
L0:Missile Defense Contracts
L0:Support to Nuclear Deterrence and
L0:Missile Defense Contracts
L0:Contracts with Institutions of Higher
L0:Education
L0:Contracts with Canadian Commercial
L0:Corporation
L0:Contracts with Canadian Commercial
L0:Corporation
L0:Contracts with Contractors
L0:Participating in the Small Business
L0:Subcontracting Test Program
L0:Contracts for Religious Services
L0:Firefighting Contracts on Military
L0:Installations
L0:Contracts for The Acquisition of
L0:American Flags
L0:Contracts for Items on the U.S.
L0:Munitions List or the 600 Series of the
L0:Commerce Control List
L0:Contracts for Delivery of Specialty
L0:Metals As End Items
L0:Contracts for Delivery of Weapon
L0:Systems Containing Specialty Metals
L0:Contracts for Delivery of Weapon
L0:Systems Containing Specialty Metals
L0:Contracts Requiring the Delivery of
L0:Hand or Measuring Tools
L0:Source
L0:DOD security
L0:directives
L0:Section 1632 of FY
L0:2015 NDAA
L0:Section 1632 of FY
L0:2015 NDAA

L0:Section 1632 of FY

L0:2015 NDAA

L0:10 USC 129d

L0:10 USC 129d

L0:1656 of FY 2018

L0:1656 of FY 2018

L0:1656 of FY 2018

L0:Section 1062 of FY

L0:2021 NDAA

L0:US-Canada defense

L0:trade agreements

L0:US-Canada defense

L0:trade agreements

L0:Section 834 of the

L0:FY 1990-1991

L0:NDAA, as amended

L0:Section 898 of FY

L0:2016 NDAA

L0:section 322 of FY

L0:2020 NDAA

L0:Recurring Approps.

L0:Section 1211 of FY

L0:2006 NDAA

L0:10 U.S.C. 4863

L0:10 USC 4863

L0:10 USC 4863

L0:10 USC 4862

L0:252.225-7016

L0:252.225-7017

L0:252.225-7018

L0:252.225-7019

L0:252.225-7023

L0:252.225-7024

L0:252.225-7026

L0:252.225-7027

L0:252.225-7029,

L0:252.225-7039

L0:252.225-7040

L0:252.225-7043

L0:252.225-7049

L0:252.225-7051

L0:252.225-7053

L0:252.225-7054

L0:252.225-7061

L0:252.225-7062

L0:252.225-7063

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L0:Contracts for Ball or Roller Bearings

L0:or Items Containing Ball or Roller

L0:Bearings

L0:Contracts Resulting in DOD

L0:Ownership of Photovoltaic Devices

L0:Contracts Resulting in DOD

L0:Ownership of Photovoltaic Devices

L0:Contracts that Require Welded

L0:Shipboard Anchor or Mooring Chain

L0:Products or Services for use by Afghan

L0:Forces or US Operations in

L0:Afghanistan

L0:Products or Services for use by Afghan

L0:Forces or US Operations in

L0:Afghanistan

L0:Products or Services for use by Afghan

L0:Forces or US Operations in

L0:Afghanistan

L0:Contracts for Foreign Military Sales

L0:Products or Services for use by Afghan

L0:Forces or US Operations in

L0:Afghanistan

L0:Contracts for Private Security

L0:Functions Outside the US

L0:Contracts for Personnel Supporting

L0:US Armed Forces Deployed Outside

L0:the US

L0:Contractors Performing Outside the

L0:US

L0:Contracts for Commercial Satellite

L0:Services

L0:Contracts for Commercial Satellite

L0:Services

L0:Contracts for Furnished Energy on an

L0:Installation

L0:Contracts for Furnished Energy on an

L0:Installation

L0:Contracts for Personal Protective

L0:Equipment

L0:Contracts for Large, Medium-Speed

L0:Diesel Engines

L0:Contracts for Components of T-AO 205

L0:and T-ARC Class Vessels

L0:Recurring Approps.

L0:Section 846 of FY

L0:2011 NDAA

L0:Section 846 of FY

L0:2011 NDAA

L0:10 U.S.C. 4864

L0:Section 886 of FY

L0:2008 NDAA

L0:Section 886 of FY

L0:2008 NDAA

L0:Section 886 of FY

L0:2008 NDAA

L0:22 U.S.C. 2779

L0:Section 826 of FY

L0:2013 NDAA

L0:Section 862 of FY

L0:2008 NDAA

L0:Section 1205 of FY

L0:2005 NDAA

L0:Other

L0:10 USC 2279

L0:10 USC 2279

L0:Section 2821 of FY

L0:2020 NDAA

L0:Section 2821 of FY

L0:2020 NDAA

L0:10 U.S.C. 4875

L0:10 U.S.C. 4864

L0:10 USC 4864

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L0:252.225-7064

L0:252.225-7065

L0:252.226-7002

L0:252.227-7013

L0:252.227-7015

L0:Alternate

L0:I

L0:252.227-7018

L0:252.227-7040

L0:252.227-7041

L0:252.229-7014

L0:252.232-7009

L0:252.232-7011

L0:252.237-7025

L0:Contracts for the Acquisition of Star

L0:Trackers

L0:Contracts for The Acquisition of Fuel

L0:for Overseas Contingency Operations

L0:Contracts for Demonstration Project

L0:for Contractors Employing Persons

L0:with Disabilities

L0:Contracts where the Government will

L0:have Paid for any Portion of the

L0:Development Costs of Commercial

L0:Products or Services

L0:Contracts for Vessel Design

L0:SBIR/STTR Contracts

L0:SBIR/STTR Contracts

L0:SBIR/STTR Contracts

L0:Contracts with Foreign Persons

L0:Credit Card Purchases

L0:Emergencies and Contingency

L0:Operations

L0:Contracts for Audit Services

L0:252.237-7026

L0:Contracts for Audit Services

L0:252.237-7027

L0:252.239-7009

L0:252.239-7010

L0:252.239-7017

L0:252.239-7018

L0:252.245-7005

L0:252.246-7003

L0:252.246-7004

L0:252.246-7008

L0:Contracts for Working Dogs

L0:Contracts for IT Services

L0:Contracts for IT Services

L0:Contracts for National Security

L0:Systems

L0:Contracts for National Security

L0:Systems

L0:Contracts Providing for Government-

L0:Furnished Property

L0:Contracts for Critical Safety Items

L0:Contracts for Facilities for Military

L0:Operations

L0:Contracts for Electronic Parts

L0:10 USC 4864

L0:Section 843 of FY

L0:2022 NDAA

L0:Section 853 of FY

L0:2004 NDAA

L0:10 USC 3771

L0:10 USC 8687

L0:10 USC 3771

L0:10 USC 3771

L0:10 USC 3771

L0:26 USC 5000C

L0:Other

L0:Other

L0:Section 1006 of FY

L0:2019 NDAA

L0:Section 1006 of FY

L0:2019 NDAA

L0:10 USC 2387

L0:Other

L0:Other

L0:10 U.S.C. 3252

L0:10 U.S.C. 3252

L0:Other

L0:Other

L0:Section 807 of FY

L0:2010 NDAA

L0:Section 818 of FY

L0:2012 NDAA

L0:252.247-7003

L0:Contracts for Shipping/Transportation Section 884 of FY

L0:2009 NDAA

L0:252.247-7026

L0:Contracts for Shipping/Transportation Section 1017 of FY

L0:2007 NDAA

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L0:252.247-7027

L0:Contracts for Shipping/Transportation Section 33504 of FY

L0:252.270-7000

L0:252.270-7001

L0:252.270-7002

L0:Contracts in Pilot Program for

L0:Employee-Owned Businesses

L0:Contracts in Pilot Program for

L0:Employee-Owned Businesses

L0:Contracts in Pilot Program for

L0:Employee-Owned Businesses

L0:2009 NDAA

L0:Section 874 of FY

L0:2022 NDAA

L0:Section 874 of FY

L0:2022 NDAA

L0:Section 874 of FY

L0:2022 NDAA

212.205-71 Additional provisions and clauses that apply to DoD solicitations

Status: active

L0:212.205-71 Additional provisions and clauses that apply to DoD solicitations

L0:and contracts using FAR part 12 procedures for the acquisition of commercial

L0:products and commercial services.

L0:If the offeror has completed any of the following provisions listed in this paragraph

L0:electronically as part of its annual representations and certifications at

L0:<https://www.sam.gov>, the contracting officer must consider this information instead of

L0:requiring the offeror to complete these provisions for a particular solicitation. The

L0:contracting officer must not use other FAR or DFARS provisions and clauses unless

L0:required by the FAR or DFARS or consistent with customary commercial practices

L0:(section 874(b)(1)(A), Pub. L. 114-328).

L1:(a) Insert the clause at 252.225-7028, Exclusionary Policies and Practices of Foreign

L0:Governments, as prescribed in 225.7307(b), to comply with 22 U.S.C. 2755.

L1:(b) Insert the clause 252.247-7025, Reflagging or Repair Work, as prescribed in

L0:247.574(b), to comply with 10 U.S.C. 2631(b).

212.401-70 General

Status: active

L0:212.401-70 General.

L0:See DoD Class Deviation 2024-O0011, Special Acquisition Authority for Rapid

L0:Contracting for Combatant Commanders, issued April 15, 2024. When approved in
L0:accordance with this class deviation, contracting officers may use certain temporary
L0:special acquisition authorities for covered contracts, including purchases and/or
L0:payments made with the Governmentwide commercial purchase card, that directly
L0:support covered operations through September 30, 2028. Combatant commanders will
L0:provide a written determination requesting use of the special acquisition authorities.
L0:These authorities include higher micro-purchase thresholds for purchases that directly
L0:support covered operations, as defined in the class deviation. This deviation is effective
L0:until September 30, 2028, unless otherwise rescinded.
L1:(a) Apply the prohibition at 223.7402 to purchases at or below the micro-purchase
L0:threshold.
L1:(b) See PGI 212.401-70 for guidance on use of the higher micro-purchase thresholds
L0:to support a declared contingency operation or to facilitate defense against or recovery
L0:from nuclear, biological, chemical, or radiological attack.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12
L0:Defense FAR Supplement (DFARS) Part 212

212.403 Methods

Status: active

L0:212.403 Methods.
L2:(a)(1) The Governmentwide commercial purchase card.
L1:(i) Follow the procedures at PGI 212.403(a)(1)(i)(A) for authorizing,
L0:establishing, and operating a Governmentwide commercial purchase card program.
L1:(ii) "United States," as used in this section, means the 50 States and the
L0:District of Columbia, the Commonwealth of Puerto Rico, the Virgin Islands, the
L0:Commonwealth of the Northern Mariana Islands, Guam, American Samoa, Wake
L0:Island, Johnston Island, Canton Island, the outer Continental Shelf, and any other
L0:place subject to the jurisdiction of the United States (but not including leased bases).
L1:(iii) Use the Governmentwide commercial purchase card as the method of
L0:purchase and/or method of payment for purchases valued at or below the micro-
L0:purchase threshold. This policy applies to all types of contract actions authorized by the
L0:FAR unless?
L1:(A) The Deputy Secretary of Defense has approved an exception for an
L0:electronic commerce/electronic data interchange system or operational requirement that
L0:results in a more cost-effective payment process;
L0:Service (SES) makes a written determination that?
L2:(B)(1) A general or flag officer or a member of the Senior Executive
L0:accept the purchase card; and
L1:(i) The source or sources available for the supply or service do not
L0:purchase card.
L1:(ii) The contracting office is seeking a source that accepts the
L1:(2) To prevent mission delays, if an activity does not have a resident
L0:general or flag officer or SES member, delegation of this authority to the level of the

L0:senior local commander or director is permitted; or

L0:criteria:

L1:(C) The purchase or payment meets one or more of the following

L0:and its outlying areas.

L1:(1) The place of performance is entirely outside the United States

L0:or oil.

L1:(2) The purchase is a Standard Form 44 purchase for aviation fuel

L1:(3) The purchase is an overseas transaction by a contracting officer

L0:in support of a contingency operation as defined in 10 U.S.C. 101(a)(13) or a

L0:humanitarian or peacekeeping operation as defined in 10 U.S.C. 3015(2).

L0:specialized activities addressed by Part 2.7 of Executive Order 12333.

L1:(4) The purchase is a transaction in support of intelligence or other

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L0:overseas contingency, humanitarian, or peacekeeping operations.

L1:(5) The purchase is for training exercises in preparation for

L1:(6) The payment is made with an accommodation check.

L1:(7) The payment is for a transportation bill.

L0:does not permit use of the Governmentwide commercial purchase card.

L1:(8) The purchase is under a Federal Supply Schedule contract that

L1:(9) The purchase is for medical services and?

L1:(i) It involves a controlled substance or narcotic;

L0:Record to document the nature of the care purchased;

L1:(ii) It requires the submission of a Health Care Summary

L1:(iii) The ultimate price of the medical care is subject to an

L0:independent determination that changes the price paid based on application of a

L0:mandatory CHAMPUS Maximum Allowable Charge determination that reduces the

L0:Government liability below billed charges;

L0:for the services without the use of a purchase card;

L1:(iv) The Government already has entered into a contract to pay

L1:(v) The purchaser is a beneficiary seeking medical care; or

L1:(vi) The senior local commander or director of a hospital or

L0:laboratory determines that use of the purchase card is not appropriate or cost-effective.

L0:The Medical Prime Vendor Program and the DoD Medical Electronic Catalog Program

L0:are two examples where use of the purchase card may not be cost-effective.

L1:(iv) An individual appointed in accordance with 201.403-2(a)(1) also may

L0:use the Governmentwide commercial purchase card to make a purchase that exceeds

L0:the micro-purchase threshold but does not exceed \$25,000, if?

L1:(A) The purchase?

L1:(1) Is made outside the United States for use outside the United

L0:States; and

L0:the United States;

L1:(2) Is for a commercial product or commercial service; but

L1:(3) Is not for work to be performed by employees recruited within

L0:from or through, sources identified in FAR Subpart 25.7;

L1:(4) Is not for supplies or services originating from, or transported
L1:(5) Is not for ball or roller bearings as end items;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12
L0:Defense FAR Supplement (DFARS) Part 212
L1:(6) Does not require access to classified or Privacy Act information;
L1:(7) Does not require transportation of supplies by sea; and
L1:(B) The individual making the purchase?
L1:(1) Is authorized and trained in accordance with agency
L1:(2) Complies with the requirements of FAR 8.103 in making the
L0:and
L0:procedures;
L0:purchase; and
L0:accordance with FAR 12.201-4(c).
L1:(3) Seeks maximum practicable competition for the purchase in
L1:(v) A contracting officer supporting a contingency operation as defined in 10
L0:U.S.C. 101(a)(13) or a humanitarian or peacekeeping operation as defined in 10 U.S.C.
L0:3015(2) may use the Governmentwide commercial purchase card to make a purchase
L0:that exceeds the micro-purchase threshold but does not exceed the simplified
L0:acquisition threshold, if?
L1:(A) The supplies or services being purchased are immediately available;
L1:(B) One delivery and one payment will be made; and
L1:(C) The requirements of paragraphs (iv)(A) and (B) of this section are
L0:met.
L1:(vi) The contracting officer must not authorize the Governmentwide
L0:commercial purchase card as a method of payment if the contract includes the clause at
L0:FAR 52.229-12, Tax on Certain Foreign Procurements, unless the contract also includes
L0:the clause at 252.229-7014, Full Exemption from Two-Percent Excise Tax on Certain
L0:Foreign Procurements, indicating that the contractor is fully exempt from the tax.
L1:(vii) Guidance on DoD purchase, travel, and fuel card programs is available
L0:in the ?Department of Defense Government Charge Card Guidebook for Establishing
L0:and Managing Purchase, Travel, and Fuel Card Programs? at
L0:<https://www.acq.osd.mil/asda/dpc/ce/pc/docs-guides.html>. Additional guidance on
L0:the fuel card programs is available at
L0:<https://www.dla.mil/Energy/Offers/Products/GovernmentFuel/>.
L1:(viii) When the Governmentwide commercial purchase card is used as a
L0:method of payment for contracts or orders, follow the procedures at 232.7002(a)(5) and
L0:PGI 242.302(a)(13)(B)(3).
L2:(a)(2) Purchase orders.
L1:(i) Contracting officers must obtain written acceptance of purchase orders
L0:and modifications of purchase orders for classified acquisitions.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12
L0:Defense FAR Supplement (DFARS) Part 212
L1:(ii) See PGI 213.403(a)(2)(ii)(A) for guidance on the use of unilateral
L0:modifications.
L1:(iii) A supplemental agreement converts a unilateral purchase order to a

L0:bilateral agreement. If not previously included in the purchase order, incorporate the
L0:clause at 252.243-7001, Pricing of Contract Modifications, in the Standard Form 30, and
L0:obtain the contractor's acceptance by signature on the Standard Form 30.

L1:(iv) Clauses.

L0:in all bilateral purchase orders.

L1:(A) Insert the clause at 252.243-7001, Pricing of Contract Modifications,

L1:(B) When using the clause at FAR 52.213-4, delete the reference to the

L0:clause at FAR 52.225-1, Buy American?Supplies. Instead, if the Buy American statute

L0:applies to the acquisition, insert the clause at?

L0:Program, or the appropriate alternate, as prescribed at 225.1101(2); or

L1:(1) 252.225-7001, Buy American and Balance of Payments

L0:Payments Program, or the appropriate alternate, as prescribed at 225.1101(10).

L1:(2) 252.225-7036, Buy American-Free Trade Agreements-Balance of

L3:(b)(2)(i) The micro-purchase limitation applies to all purchases, except that

L0:purchases not exceeding the simplified acquisition threshold may be made for?

L1:(A) Fuel and oil. U.S. Government fuel cards may be used in lieu of an

L0:SF 44 for fuel, oil, and authorized refueling-related items (see PGI 212.403(b)(2)(i)(1)

L0:for procedures on use of fuel cards);

L1:(B) Overseas transactions by contracting officers in support of a

L0:contingency operation as defined in 10 U.S.C. 101(a)(13) or a humanitarian or

L0:peacekeeping operation as defined in 10 U.S.C. 3015(2); and

L0:activities addressed by Part 2.7 of Executive Order 12333.

L1:(C) Transactions in support of intelligence and other specialized

L1:(ii) See PGI 212.403(b)(2)(ii)(2) for procedures on use of forms for purchases

L0:made using simplified acquisition procedures.

L2:(c)(1) On a very limited basis, installation commanders and commanders of other

L0:activities with contracting authority may be granted authority to establish imprest

L0:funds and third party draft (accommodation check) accounts. Use of imprest funds and

L0:third party drafts must comply with?

L1:(i) DoD 7000.14-R, DoD Financial Management Regulation, Volume 5,

L0:Disbursing Policy and Procedures; and

L1:(ii) The Treasury Financial Manual, Volume I, Part 4, Chapter 3000.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L1:(2) Use of imprest funds requires approval by the Director for Financial Commerce,

L0:Office of the Deputy Chief Financial Officer, Office of the Under Secretary of Defense

L1:(Comptroller), except as provided in paragraph (c)(3) of this subsection.

L1:(3) Imprest funds are authorized for use without further approval for?

L1:(i) Overseas transactions at or below the micro-purchase threshold in

L0:support of a contingency operation as defined in 10 U.S.C. 101(a)(13) or a humanitarian

L0:or peacekeeping operation as defined in 10 U.S.C. 3015(2); and

L1:(ii) Classified transactions.

212.7000 Scope of subpart

Status: active

L0:212.7000 Scope of subpart.

L0:This subpart implements 10 U.S.C. 3458 for the acquisition of innovative commercial

L0:products or commercial services through the use of a general solicitation known as a

L0:commercial solutions opening (CSO).

212.7001 Definition

Status: active

L0:212.7001 Definition.

L0:As used in this subpart?

L0:Innovative? means?

L1:(a) Any technology, process, or method, including research and development, that is

L0:new as of the date of submission of a proposal; or

L1:(b) Any application that is new as of the date of submission of a proposal of a

L0:technology, process, or method existing as of such date.

212.7002 Policy

Status: active

L0:212.7002 Policy.

L1:(a) Contracting officers may only use a CSO?

L1:(1) To obtain innovative solutions or potential capabilities that fulfill

L0:requirements;

L1:(2) To close capability gaps, or provide potential innovative technological

L0:advancements; and

L1:(3) When meaningful proposals with varying technical or scientific approaches

L0:can be reasonably anticipated.

L1:(b) Notwithstanding FAR 12.104, contracting officers must use fixed-price type

L0:contracts, including fixed-price incentive contracts, for awards resulting from a CSO.

L0:When using a fixed-price incentive contract, see subpart 16.4 for additional

L0:requirements.

L1:(c) Contracting officers must treat products and services acquired using a CSO as

L0:commercial products or commercial services.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L1:(d) When using a CSO to acquire research and development, contracting officers

L0:must use the procedures of this subpart in conjunction with FAR part 35 and part 235.

L0:A CSO is not subject to the limitations at 235.016 and may be used to fulfill

L0:requirements for research and development, ranging from advanced component

L0:development through operational systems development.

212.7003 Limitations

Status: active

L0:212.7003 Limitations.

L0:Contracting officers must follow the procedures at PGI 212.7003 to obtain senior

L0:procurement executive approval to award a contract in excess of \$100 million resulting

L0:from a CSO.

212.7004 Procedures

Status: active

L0:212.7004 Procedures.

L0:This section prescribes procedures for the use of a CSO.

L1:(a) The CSO must?

L1:(1) Describe the agency's interest for an individual program requirement or for

L0:broadly defined areas of interest covering the full range of the agency's requirements;

L1:(2) Specify the technical data required that may be necessary to meet DoD's

L0:minimum requirements (see 227.7102 and 227.7202);

L1:(3) Describe the evaluation factors for selecting proposals to include?

L1:(i) Technical and importance to agency programs as the primary evaluation

L0:factors;

L1:(ii) Price to the extent appropriate, but at a minimum to determine that the

L0:price is fair and reasonable; and

L1:(iii) Relative importance of the factors, and the method of evaluation;

L1:(4) Specify the period of time during which proposals submitted in response to

L0:the CSO will be accepted; and

L1:(5) Contain instructions for the preparation and submission of proposals.

L1:(b) The contracting officer must publicize the CSO through the Governmentwide

L0:point of entry and, if authorized pursuant to FAR subpart 5.5, may also publish a notice

L0:regarding the CSO in noted scientific, technical, or engineering periodicals. The

L0:contracting officer must publish the notice at least annually.

L1:(c) Proposals received in response to the CSO must be evaluated in accordance with

L0:evaluation factors specified therein through a scientific, technological, or other subject-

L0:matter expert peer review process. Written evaluation reports on individual proposals

L0:are required, but proposals need not be evaluated against each other since they are not

L0:submitted in response to a common performance work statement or statement of work.

L1:(d) Synopsis of proposed contract actions under FAR subpart 5.1 of individual

L0:contract actions based upon proposals received in response to the CSO is not required.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L0:The notice published pursuant to paragraph (b) of this section fulfills the synopsis

L0:requirement.

L1:(e) When a small business concern would otherwise be selected for award but is

L0:considered not responsible, follow the Small Business Administration Certificate of

L0:Competency procedure (see FAR subpart 19.204).

L1:(f) The contracting officer must document the decision that the requirements of this

L0:subpart have been met and include the documentation in the contract file.

212.7005 Congressional notification

Status: active

L0:212.7005 Congressional notification.

L0:See PGI 212.7005 for congressional notification requirements for contracts valued at

L0:more than \$100 million that are awarded pursuant to a CSO.

212.7201 Applicability of certain laws to executive agency contracts for the

Status: active

L0:212.7201 Applicability of certain laws to executive agency contracts for the

L0:acquisition of commercial products and commercial services.

L0:See PGI 212.7201 Applicability of Certain Laws to Executive Agency Contracts for the

L0:Acquisition of Commercial Products and Commercial Services.

212.7202 are also not applicable or are modified in their applicability to contracts for the

Status: active

L0:212.7202 are also not applicable or are modified in their applicability to contracts for the

L0:acquisition of COTS items. In addition to the laws listed at

L0:<https://www.acquisition.gov/inapplicable> laws as specifically not applicable to COTS items,

L0:the following laws are not applicable to contracts for the acquisition of COTS items:

L1:(1) 10 U.S.C. 391, Reporting on Cyber Incidents with Respect to Networks and

L0:Information Systems of Operationally Critical Contractors and Certain Other Contractors,

L0:and 10 U.S.C. 393, Reporting on Penetrations of Networks and Information Systems of

L0:Certain Contractors.

L1:(2) Paragraph (a)(1) of 10 U.S.C. 4863, Requirement to buy strategic materials critical to

L0:national security from American sources, except as provided at 225.7003-3(b)(2)(i).

L1:(3) Paragraph (a)(1) of 10 U.S.C. 4872, Prohibition on acquisition of sensitive materials

L0:from non-allied foreign nations, except as provided at 225.7018-3(c)(1).

212.7203 Applicability of certain laws to contracts for the acquisition of COTS

Status: active

L0:212.7203 Applicability of certain laws to contracts for the acquisition of COTS

L0:items. Commercially available off-the-shelf (COTS) items are a subset of

L0:commercial products.

L0:See PGI 212.7203 Applicability of certain laws to contracts for the acquisition of COTS

L0:items. Commercially available off-the-shelf (COTS) items are a subset of commercial
L0:products.

212.7204 Inapplicability of certain provisions and clauses to contracts and

Status: active

L0:212.7204 Inapplicability of certain provisions and clauses to contracts and
L0:subcontracts for the acquisition of commercial products, commercial
L0:services, and commercially available off-the-shelf items.
L0:The following provisions and clauses, not expressly authorized in law, are not
L0:applicable to contracts for the acquisition of commercial products and commercial
L0:services:
L1:(a) FAR 52.204-22, Alternative Line Item Proposal.
L1:(b) 252.203-7003, Agency Office of the Inspector General.
L1:(c) 252.215-7007, Notice of Intent to Resolicit.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12
L0:Defense FAR Supplement (DFARS) Part 212

212.7205 Inapplicability of certain provisions and clauses to contracts for

Status: active

L0:212.7205 Inapplicability of certain provisions and clauses to contracts for
L0:the acquisition of commercially available off-the-shelf items.
L0:Commercially available off-the-shelf (COTS) items are a subset of commercial
L0:products. Therefore, the provisions and clauses listed in 212.7204 as not applicable
L0:to contracts or subcontracts for the acquisition of commercial products are also not
L0:applicable to contracts or subcontracts for the acquisition of COTS items. In
L0:addition, the following provisions and clauses published after October 13, 1994, not
L0:expressly authorized in law, are not applicable or are modified in their applicability
L0:to contracts for the acquisition of COTS items:
L1:(a) FAR 52.204-21, Basic Safeguarding of Covered Contractor Information
L0:Systems.
L1:(b) 252.204-7008, Compliance with Safeguarding Covered Defense Information
L0:Controls.
L1:(c) 252.204-7012, Safeguarding Covered Defense Information and Cyber
L0:Incident Reporting.
L1:(d) 252.204-7019, Notice of NIST SP 800-171 DoD Assessment Requirements.
L1:(e) 252.204-7020, NIST SP 800-171 DoD Assessment Requirements.
L1:(f) 252.204-7021, Cybersecurity Maturity Model Certification Requirements.
L1:(g) 252.205-7000, Provision of Information to Cooperative Agreement Holders.
L1:(h) 252.270-7000, Pilot Program to Incentivize Contracting with Employee-
L0:Owned Businesses?Representation.
L1:(i) 252.270-7001, Pilot Program to Incentivize Contracting with Employee-Owned
L0:Businesses?Subcontracting Certification.

L1:(j) 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned
L0:Businesses.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L0:PGI 212?ACQUISITION OF COMMERCIAL PRODUCTS AND COMMERCIAL

L0:SERVICES

L0:PGI 212.1?PRESOLICITATION

L0:PGI 212.001-70 Applicability.

L1:(b) Commercial product or commercial service determination.

L1:(A) Making the commercial product or commercial service determination.

L1:(1) Before making a commercial product or commercial service

L0:determination, the contracting officer must search the DoD Commercial Item Database at

L0:<https://piee.eb.mil> for the item and an associated commercial product or commercial service

L0:determination or the decision that the item is not commercial in accordance with the

L0:commercial product or commercial service definition at FAR 2.101.

L0:may?

L1:(2) In accordance with 10 U.S.C. 3456(b)(1), the contracting officer

L1:(i) Request support from the Defense Contract Management Agency

L1:(DCMA) by sending an email to DCMA Commercial Item Group (CIG) at [dcma.boston-](mailto:dcma.boston-ma.eastern-rc.mbx.Commercial@mail.mil)

L0:ma.eastern-rc.mbx.Commercial@mail.mil;

L0:Agency (DCAA) office;

L1:(ii) Request support from the cognizant Defense Contract Audit

L1:(iii) Request support from other appropriate experts in DoD such as

L0:program office technical evaluators, program managers, cognizant engineers, or other

L0:contracting officers; or

L1:(iv) Consider the views of appropriate public and private sector

L0:entities such as documents provided by the contractor asserting commerciality to

L0:include technical drawings, product or catalog descriptions, or national stock numbers.

L1:(3) The contracting officer may make the commercial product or

L0:commercial service determination or the decision that the item is other than commercial

L0:in accordance with the commercial product or commercial service definition at FAR

L0:2.101 or request a DCMA CIG contracting officer make the determination or the decision

L0:that the product or service is other than commercial in accordance with the commercial

L0:product or commercial service definition at FAR 2.101 by submitting a request to

L0:dcma.boston-ma.eastern-rc.mbx.Commercial@mail.mil. The contracting officer may

L0:withdraw the request at any point prior to the determination being made.

L1:(B) Documenting the commercial product or commercial service determination.

L1:(1) The contracting officer making the determination must document the

L0:market research and rationale supporting a conclusion that the product or service is

L0:commercial or is other than commercial and include it in the contract file.

L1:(2) Particular care must be taken when documenting determinations

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L0:involving items that are of a type customarily used by the general public or by

L0:nongovernmental entities, modifications of a type customarily available in the marketplace,
L0:and items only offered for sale, lease, or license to the general public but not yet actually
L0:sold, leased, or licensed. In these situations, the documentation must clearly detail the
L0:particulars of the items and modifications of a type and sales offers. When such items lack
L0:sufficient market pricing information, additional diligence must be given to determinations
L0:that prices are fair and reasonable as required by FAR subpart 15.4.

L1:(3) The contracting officer must include the part number, the national stock
L0:number, or both, as applicable, in the commercial product or commercial service
L0:determination or the decision that the product or service does not meet the commercial
L0:product or commercial service definition at FAR 2.101.

L1:(4) The contracting officer must include the commercial product or
L0:commercial service determination or the decision that the product or service does not
L0:meet the commercial product or commercial service definition at FAR 2.101 in the
L0:contract file.

L1:(C) DoD commercial item database. In accordance with 10 U.S.C.
L0:3456(b)(2), within 30 days of contract award, the contracting officer making the
L0:determination must upload the signed commercial product or service determination or the
L0:decision that the item does not meet the commercial product or commercial service
L0:definition at FAR 2.101 to the DoD Commercial Item Database at <https://piee.eb.mil>. The
L0:only documentation that is required to be uploaded to the database is the commercial
L0:product or service determination or the decision that the item is other than commercial.
L0:Contracting officers must avoid uploading any data marked as proprietary or controlled
L0:unclassified information to the Commercial Item Database. Additional information is
L0:available at <https://www.dcm.mil/commercial-item-group/>.

L1:(D) Prior commercial product or commercial service determination.

L1:(1) If a prior DoD commercial product or commercial service determination
L0:for the same product or service is made by a military department, defense agency, or
L0:another component of DoD, contracting officers may presume that the prior commercial
L0:product or commercial service determination must serve as a determination for subsequent
L0:procurements of such product or service, unless the process is followed to overturn the prior
L0:determination.

L1:(2) If the DoD Commercial Item Database contains a prior decision that a
L0:product or service does not meet the definition of a commercial product or commercial
L0:service at FAR 2.101, the contracting officer may use the prior decision to serve as the
L0:decision for subsequent procurements of the same product or service. To promote
L0:consistent acquisition procedures across DoD, contracting officers should consult
L0:contracting activities that regularly procure the product or service to understand the
L0:basis for determining that the product or service does not meet the commercial product
L0:or commercial service definition at FAR 2.101.

L1:(v) Commercial product or commercial service guidebook. See the
L0:Department of Defense Guidebook for Acquiring Commercial Items, Part A: Commercial
L0:Item Determination, for detailed guidance and practical examples on improving the
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12
L0:Defense FAR Supplement (DFARS) Part 212
L0:consistency and timeliness of commercial product or commercial service determinations to

L0:include a template for new commercial product or commercial service determinations and
 L0:for general information related to commercial products or commercial services.
 L2:(d)(1) This permissive authority is intended to enhance defense innovation and
 L0:investment, enable DoD to acquire items that otherwise might not have been available, and
 L0:create incentives for nontraditional defense contractors to do business with DoD. It is not
 L0:intended to recategorize current other than commercial products or commercial services;
 L0:however, when appropriate, contracting officers may consider applying commercial product
 L0:or commercial service procedures to the procurement of supplies and services from
 L0:business segments that meet the definition of "nontraditional defense contractor" even
 L0:though they have been established under traditional defense contractors. The decision to
 L0:apply commercial product and commercial service procedures to the procurement of
 L0:supplies and services from nontraditional defense contractors does not require a
 L0:commercial product or commercial service determination and does not mean the item is
 L0:commercial.

L0:PGI 212.102-70 Promoting competition.

L0:For more information on the approaches that may be used to competitively fulfill DoD
 L0:requirements, see the Office of the Under Secretary of Defense for Acquisition, Technology,
 L0:and Logistics Guidelines for Creating and Maintaining a Competitive Environment for
 L0:Supplies and Services in the Department of Defense,
 L0:<https://www.acq.osd.mil/asda/dpc/cp/policy/competition.html>.

L0:PGI 212.2?SOLICITATION, EVALUATION, AND AWARD

L0:PGI 212.201 Solicitation procedures.

L0:PGI 212.201-1 Simplified procedures.

L1:(e) Other flexibilities

L1:(3) Blanket purchase agreement. Individual purchases for subsistence may be
 L0:made at any dollar value; however, the contracting officer must satisfy the competition
 L0:requirements of FAR part 6 for any action not using simplified acquisition procedures.

L0:PGI 212.203 Evaluation.

L1:(a) Factors.

L1:(1) Technical.

L1:(A) When acquiring transportation or transportation-related services, also
 L0:consider evaluating offers in accordance with the criteria at 247.206(1).

L1:(B) For the acquisition of transportation in supply contracts that will include a
 L0:significant requirement for transportation of items outside the contiguous United States, also
 L0:evaluate offers in accordance with the criterion at 247.301-71.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L1:(C) For the direct purchase of ocean transportation services, also evaluate
 L0:offers in accordance with the criteria at 247.573-2(c).

L0:PGI 212.4?MICRO PURCHASES

L0:PGI 212.401-70 General.

L2:(b)(i) Higher micro-purchase thresholds are authorized for purchases that have a
 L0:clear and direct relationship to the support of a contingency operation; to facilitate
 L0:defense against or recovery from cyber, nuclear, biological, chemical, or radiological

L0:attack; to support a request from the Secretary of State or the Administrator of the
L0:United States Agency for International Development to facilitate provision of
L0:international disaster assistance pursuant to 22 U.S.C. 2292 et seq.; or to support
L0:response to an emergency or major disaster (42 U.S.C. 5122).

L1:(ii) "United States," as used in this section, is defined in FAR 2.101.

L1:(iii) Except as provided in paragraph (iv) of this section, the following tables

L0:illustrate the higher micro-purchase threshold based on the physical location of the
L0:Government purchaser and, for services, the place of performance:

L1:(A) For supplies?

L0:Government Purchaser Physical Location

L0:Authorized Micro-Purchase Threshold

L0:Inside United States

L0:Outside United States

L1:(B) For services?

L0:\$25,000

L0:\$40,000

L0:Government Purchaser

L0:Physical Location

L0:Place of

L0:Performance

L0:Authorized

L0:Micro-Purchase Threshold

L0:Inside United States

L0:Inside or outside United States

L0:Outside United States

L0:Inside United States

L0:Outside United States

L0:Outside United States

L0:\$25,000

L0:\$25,000

L0:\$40,000

L2:(iv)(A) Unless authorized by statute, Government purchasers physically

L0:located inside the United States are prohibited from using the higher micro-purchase

L0:threshold authorized for purchases made and/or with a place of performance outside

L0:the United States.

L0:chapter 67, Service Contract Labor Standards, remains at \$2,500.

L1:(B) The micro-purchase threshold for acquisitions subject to 41 U.S.C.

L1:(C) The micro-purchase threshold for acquisitions of construction

L0:subject to 40 U.S.C. chapter 31, subchapter IV, Wage Rate Requirements

L1:(Construction), remains at \$2,000.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L1:(D) The higher micro-purchase thresholds in paragraph (g)(iii) of this

L0:section are not authorized for acquisitions supporting humanitarian or peacekeeping

L0:operations.

L0:PGI 212.403 Methods.

L4:(a)(1)(i)(A) A Governmentwide commercial purchase card program is authorized

L0:pursuant to a delegation of contracting authority and designation as a DoD contracting

L0:activity for the purpose of streamlining the purchase and payment processes for supplies

L0:and services by use of a Government-issued purchase card.

L1:(B) Governmentwide commercial purchase card programs cannot be

L0:established or operated unless contracting authority is granted in accordance with governing

L0:laws and regulations, and delegated through a contracting activity identified at PGI 202.101.

L0:Further guidance regarding establishment, operation, and oversight of Governmentwide

L0:commercial purchase card programs can be found in the ?Department of Defense

L0:Government Charge Card Guidebook for Establishing and Managing Purchase, Travel, and

L0:Fuel Card Programs? at <https://www.acq.osd.mil/asda/dpc/ce/pc/docs-guides.html>.

L4:(a)(2)(ii)(A) Generally, use unilateral modifications (see far 43.103) for?

L1:(1) No-cost amended shipping instructions if?

L0:order; and

L1:(i) The amended shipping instructions modify a unilateral purchase

L1:(ii) The contractor agrees orally or in writing; and

L1:(2) Any change made before work begins if?

L1:(i) The change is within the scope of the original order;

L1:(ii) The contractor agrees;

L0:agreement; and

L1:(iii) The modification references the contractor?s oral or written

L0:Solicitation/Modification of Contract, is annotated to reflect the authority for issuance of the

L0:modification.

L1:(iv) Block 13d of Standard Form 30, Amendment of

L4:(b)(2)(i)(1) Establish fuel card accounts?

L0:program manager for fuel cards (see

L0:<http://www.desc.dla.mil/dcm/files/cpmpps06022010.pdf>; and

L1:(i) For DoD customers, contact the service or agency component

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L0:manager identified at <http://www.desc.dla.mil/dcm/dcmpage.asp?pageid=41>.

L1:(ii) For non-DoD customers, contact the designated account

L0:guidance found at <http://www.desc.dla.mil/dcm/dcmpage.asp?pageid=28>.

L1:(2) Purchasers using the air card® and sea card® must follow the

L4:(b)(2)(ii)(2) Commercial products and commercial services. If SF 1449 is not used, use

L0:DD Form 1155 in accordance with paragraph (b)(2)(ii)(2)(3) of this section.

L1:(3) The DD Form 1155 is authorized for use for?

L1:(i) Orders placed in accordance with FAR part 8 and 16; and

L1:(ii) Classified acquisitions when the purchase is made within the

L0:United States. Attach the DD Form 254, Contract Security Classification Specification, to

L0:the purchase order.

L1:(iii) Do not use Optional Form 347, Order for Supplies or Services, or Optional

L0:Form 348, Order for Supplies or Services Schedule--Continuation.

L1:(iv) Use Standard Form 30, Amendment of Solicitation/Modification of Contract,
L0:to?

L1:(A) Modify a purchase order; or

L1:(B) Cancel a unilateral purchase order.

L0:PGI 212.70?DEFENSE COMMERCIAL SOLUTIONS OPENING

L0:PGI 212.7003 Limitations.

L1:(a) Prior to awarding a contract in excess of \$100 million pursuant to a commercial

L0:solutions opening (CSO), contracting officers must prepare a written determination for

L0:approval by the senior procurement executive that includes?

L1:(1) A description of the innovative commercial product, commercial service, or

L0:technology acquired;

L1:(2) A description of the requirement, capability gap, or potential technological

L0:advancement with respect to which the innovative commercial product, commercial service,

L0:or technology acquired provides a solution or a potential new capability;

L1:(3) A description of the efficacy of the effort to meet the mission needs of DoD or the

L0:relevant military department or defense agency;

L1:(4) The proposed contract award amount; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L1:(5) The prospective contractor.

L1:(b) Include a copy of the approved determination in the contract file.

L0:PGI 212.7005 Congressional notification.

L0:Military departments and defense agencies must provide notification to the congressional

L0:defense committees no later than 45 days after the award of a contract valued at more than

L0:\$100 million resulting from a CSO.

L1:(a) The contracting officer must prepare a notice of award for the congressional defense

L0:committees that includes?

L1:(1) A description of the innovative commercial product, commercial service, or

L0:technology acquired;

L1:(2) A description of the requirement, capability gap, or potential technological

L0:advancement with respect to which the innovative commercial product, commercial service,

L0:or technology acquired provides a solution or a potential new capability;

L1:(3) The contract award amount; and

L1:(4) The contractor awarded the contract.

L1:(b) Submit the notice of award in accordance with department/agency procedures.

L1:(c) Include a copy of the notice of award in the contract file.

L0:PGI 212.72?APPLICABILITY OF CERTAIN LAWS TO THE ACQUISITION OF

L0:COMMERCIAL PRODUCTS, COMMERCIAL SERVICES, AND COMMERCIAL

L0:AVAILABLE OFF-THE-SHELF ITEMS

L0:PGI 212.7201 Applicability of certain laws to Executive agency contracts for the

L0:acquisition of commercial products and commercial services.

L1:(a) The following laws are not applicable to contracts for the acquisition of commercial

L0:products or commercial services:

L1:(i) 10 U.S.C. 3321(b), Prohibition on Contingent Fees.

L1:(ii) 10 U.S.C. 3741-3750, Allowable Costs Under Defense Contracts.

L1:(iii) 10 U.S.C. 3845, Contractor Inventory Accounting System Standards (see **L0:252.242-7004**).

L1:(iv) 10 U.S.C. 4651, note prec. (section 855, Pub. L. 117-81), Employment

L0:Transparency Regarding Individuals Who Perform Work in the People's Republic of China.

L1:(v) 10 U.S.C. 4656(a), Prohibition on Persons Convicted of Defense Related
L0:Felonies.

L1:(vi) 10 U.S.C. 4753(b), Requirement to Identify Suppliers.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L1:(vii) 10 U.S.C. 4864, Miscellaneous Limitations on the Procurement of Goods Other

L0:Than United States Goods. 10 U.S.C. 4864 is not applicable to contracts valued at or below

L0:the simplified acquisition threshold.

L1:(viii) Section 8116 of the Defense Appropriations Act for Fiscal Year 2010 (Pub. L.

L0:111-118) (prohibits mandatory arbitration) and similar sections in subsequent DoD

L0:appropriations acts.

L1:(ix) Domestic Content Restrictions in the National Defense Appropriations Acts for

L0:Fiscal Years 1996 and Subsequent Years, unless the restriction specifically applies to

L0:commercial products or commercial services. For the restriction that specifically applies to

L0:commercial ball or roller bearings as end items, see 225.7009-3 (section 8065 of Pub. L.

L0:107-117).

L1:(c) The applicability of the following laws has been modified in regard to contracts for the

L0:acquisition of commercial products and commercial services:

L1:(i) 10 U.S.C. 3703, Truthful Cost or Pricing Data (see FAR 15.403-1(c)(3)).

L1:(ii) 10 U.S.C. 4655, Prohibition on Limiting Subcontractor Direct Sales to the United

L0:States (see FAR 3.503 and 52.203-6).

L0:PGI 212.7202 Applicability of certain laws to subcontracts for the acquisition of

L0:commercial products and commercial services.

L1:(a) The following laws are not applicable to subcontracts at any tier for the acquisition of

L0:commercial products, commercial services, or commercial components:

L1:(i) 10 U.S.C. 2391 note, Notification of Substantial Impact on Employment.

L1:(ii) 10 U.S.C. 2631, Transportation of Supplies by Sea (except as provided in the

L0:clause at 252.247-7023, Transportation of Supplies by Sea).

L1:(iii) 10 U.S.C. 3321(b), Prohibition on Contingent Fees.

L1:(iv) 10 U.S.C. 3741-3750, Allowable Costs Under Defense Contracts.

L1:(v) 10 U.S.C. 3841(d), Examination of Records of a Contractor.

L1:(vi) 10 U.S.C. 3845, Contractor Inventory Accounting System Standards.

L1:(vii) 10 U.S.C. 4651, note prec. (section 855, Pub. L. 117-81), Employment

L0:Transparency Regarding Individuals Who Perform Work in the People's Republic of China.

L1:(viii) 10 U.S.C. 4654, Prohibition Against Doing Business with Certain Offerors or

L0:Contractors.

L1:(ix) 10 U.S.C. 4656(a), Prohibition on Persons Convicted of Defense Related

L0:Felonies.

L1:(x) 10 U.S.C. 4753(b), Requirement to Identify Suppliers.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12

L0:Defense FAR Supplement (DFARS) Part 212

L1:(xi) 10 U.S.C. 4801 note prec., Notification of Proposed Program Termination.

L1:(xii) 10 U.S.C. 4864, Miscellaneous Limitations on the Procurement of Goods Other

L0:Than United States Goods. 10 U.S.C. 4864 is not applicable to subcontracts valued at or

L0:below the simplified acquisition threshold.

L1:(xiii) Section 8116 of the Defense Appropriations Act for Fiscal Year 2010 (Pub.

L0:L. 111-118) (prohibits mandatory arbitration) and similar sections in subsequent DoD

L0:appropriations acts.

L1:(xiv) Domestic Content Restrictions in the National Defense Appropriations

L0:Acts for Fiscal Years 1996 and Subsequent Years, unless the restriction specifically applies

L0:to commercial products and commercial services. For the restriction that specifically applies

L0:to commercial ball or roller bearings as end items, see 225.7009-3

L0:(section 8065, Pub. L. 107-117).

L1:(b) Certain requirements of the following laws have been eliminated for subcontracts at

L0:any tier for the acquisition of commercial products, commercial services, or commercial

L0:components:

L1:(i) 10 U.S.C. 4654(d), Subcontractor Reports Under Prohibition Against Doing

L0:Business with Certain Offerors (see FAR 52.209-6).

L1:(ii) 10 U.S.C. 4655, Prohibition on Limiting Subcontractor Direct Sales to the United

L0:States (see FAR 3.503 and 52.203-6).

L1:(iii) 10 U.S.C. 4864, Miscellaneous Limitations on the Procurement of Goods Other

L0:Than United States Goods. 10 U.S.C. 4864 is not applicable to subcontracts at any tier

L0:valued at or below the simplified acquisition threshold.

L0:PGI 212.7203 Applicability of certain laws to contracts for the acquisition of COTS

L0:items. Commercially available off-the-shelf (COTS) items are a subset of commercial

L0:products.

L0:Therefore, any laws listed at [https://www.acquisition.gov/inapplicable laws](https://www.acquisition.gov/inapplicable_laws), PGI 212.7201, or

PART 13

DFARS Part 213 ? Simplified Procedures for Noncommercial Acquisitions

Status: active

L0:PART 213 ? Simplified Procedures for Noncommercial Acquisitions

L0:OFFICE OF THE ASSISTANT SECRETARY OF WAR

L0:3000 DEFENSE PENTAGON

L0:WASHINGTON, DC 20301-3000

L0: ACQUISITION

L0:AND SUSTAINMENT

L0:In reply refer to

L0:DARS Tracking Number: 2026-O0029

L0:MEMORANDUM FOR COMMANDER, UNITED STATES CYBER

L0: COMMAND (ATTN: ACQUISITION EXECUTIVE)

L0:COMMANDER, UNITED STATES SPECIAL OPERATIONS

L0:COMMAND (ATTN: ACQUISITION EXECUTIVE)

L0:COMMANDER, UNITED STATES TRANSPORTATION

L0: COMMAND (ATTN: ACQUISITION EXECUTIVE)

L0:DEPUTY ASSISTANT SECRETARY OF THE ARMY

L0: (PROCUREMENT)

L0:DEPUTY ASSISTANT SECRETARY OF THE NAVY

L0: (PROCUREMENT)

L0:DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE

L0: (CONTRACTING)

L0:DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

L0:SUBJECT: Class Deviation?Revolutionary Federal Acquisition Regulation (FAR) Overhaul

L0:Part 13, Defense FAR Supplement (DFARS) Part 213

L0:Effective February 1, 2026, contracting officers shall use?

L0:? The revised FAR Part 13, Simplified Procedures for Noncommercial Acquisitions,

L0:published on the Revolutionary FAR Overhaul web page at

L0:<https://www.acquisition.gov/far-overhaul/far-part-deviation-guide/far-overhaul-part->

L0:13 in lieu of the text codified at 48 CFR chapter 1 (<https://www.ecfr.gov>).

L0:? The attached DFARS Part 213, Simplified Procedures for Noncommercial

L0:Acquisitions, in lieu of the text codified at 48 CFR chapter 2; and

L0:? The DFARS Procedures, Guidance, and Information (PGI) 213, Simplified

L0:Procedures for Noncommercial Acquisitions in lieu of the PGI text published on the

L0:Defense Pricing, Contracting, and Acquisition Policy web page at

L0:<https://www.acq.osd.mil/dpap/dars/dfarspgi/current/index.html>.

L0:This class deviation implements the following:

L0:? Section 2 of E.O. 14275, Restoring Common Sense to Federal Procurement, which

L0:establishes the policy that the FAR ?should only contain provisions required by

L0:statute or essential to sound procurement, and any FAR provisions that do not
L0:advance these objectives should be removed.?

L0:DARS Tracking Number: 2026-O0029

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 13

L0:Defense FAR Supplement (DFARS) Part 213

L0:? Section 4(a) of E.O. 14265, Modernizing Defense Acquisitions and Spurring

L0:Innovation in the Defense Industrial Base which requires the Secretary of War to

L0:eliminate or revise any unnecessary supplemental regulations or any other internal

L0:guidance, such as relevant parts of the Financial Management Regulation and

L0:Defense Federal Acquisition Regulation Supplement.

L0:? The Office of Management and Budget memorandum, M-25-26 issued on

L0:May 2, 2025, titled, Overhauling the Federal Acquisition Regulation, which

L0:provided additional guidance to federal agencies regarding the FAR overhaul.

L0:This class deviation remains in effect until rescinded or incorporated into the FAR,

L0:DFARS, and DFARS PGI. Inquiries regarding this class deviation can be addressed to

L0:osd.pentagon.ousd-a-s.mbx.dfars@mail.mil.

L0:John M. Tenaglia

L0:Principal Director,

L0:Defense Pricing, Contracting, and

L0:Acquisition Policy

L0:Attachments:

L0:As stated

L0:2

L0:Attachment A1

L0:DARS Tracking Number: 2026-O0029

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 13

L0:Defense FAR Supplement (DFARS) Part 213

L0:PART 213 ? SIMPLIFIED PROCEDURES FOR NONCOMMERCIAL

L0:ACQUISITIONS

L0:See DoD Class Deviation 2024-O0011, Special Acquisition Authority for Rapid

L0:Contracting for Combatant Commanders, issued April 15, 2024. When approved in

L0:accordance with this class deviation, contracting officers may use certain temporary

L0:special acquisition authorities for covered contracts, including purchases and/or

L0:payments made with the Governmentwide commercial purchase card, that directly

L0:support covered operations through September 30, 2028. Combatant commanders will

L0:provide a written determination requesting use of the special acquisition authorities.

L0:These authorities include higher micro-purchase thresholds for purchases that directly

L0:support covered operations, as defined in the class deviation. This deviation is effective

L0:until September 30, 2028, unless otherwise rescinded.

L0:Page 1 of 1

L0:Attachment A2

L0:DARS Tracking Number: 2026-O0029

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 13

L0:Defense FAR Supplement (DFARS) Part 213

L0:PGI 213 SIMPLIFIED PROCEDURES FOR NONCOMMERCIAL ACQUISITIONS

L0:[RESERVED]

L0:Page 1 of 1

PART 14

SUBPART 214.3 ? EVALUATION AND AWARD.

Status: active

L0:SUBPART 214.3?EVALUATION AND AWARD.

214.202-4 Part IV?Representations and instructions

Status: active

L0:214.202-4 Part IV?Representations and instructions.

L1:(c) Include an evaluation factor regarding supply chain risk (see part 239) when

L0:acquiring information technology, whether as a service or as a supply, that is a

L0:covered system, is a part of a covered system, or is in support of a covered system,

L0:as defined in part 239.

214.206 Descriptive literature

Status: active

L0:214.206 Descriptive literature.

L1:(f) When using brand name purchase descriptions, see FAR 6.103-1.

214.207-70 Solicitation provisions

Status: active

L0:214.207-70 Solicitation provisions.

L0:Insert the provisions at 252.215-7007, Notice of Intent to Resolicit, and 252.215-

L0:7008, Only One Offer, as prescribed at 215.371-6 and 215.408(3), respectively.

214.209 Soliciting bids

Status: active

L0:214.209 Soliciting bids.

L1:(b) See the procedures at PGI 205.101-70 for use of the Solicitation Module within

L0:the Procurement Integrated Enterprise Environment.

214.209-70 Policy

Status: active

L0:214.209-70 Policy.

L0:If an Invitation for Bids (IFB), that exceeds the simplified acquisition threshold,

L0:allowed less than 30 days for receipt of bids, or resulted in only one bid, the
L0:contracting officer shall cancel and resolicit. The new IFB must allow at least 30
L0:days for receipt of bids (see section 215.371).

214.211-370 Procedures

Status: active

L0:214.211-370 Procedures.
L0:In addition to the requirements at FAR 14.211-3(a)(1)(iv), include an evaluation
L0:factor for supply chain risk (see 214.202-4(c)).

214.304-3 Other mistakes disclosed before award

Status: active

L0:214.304-3 Other mistakes disclosed before award.
L0:See PGI 214.304-3 for the delegation authority to approve determinations.

214.305 Cancellation of invitations after opening

Status: active

L0:214.305 Cancellation of invitations after opening.
L1:(1) The contracting officer must make the written determinations required by
L0:FAR 14.305.

214.305-70 Only one offer received

Status: active

L0:214.305-70 Only one offer received.
L0:If only one offer is received, follow the procedures at 215.371 in lieu of the
L0:procedures at FAR 14.305(e).
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 14
L0:Defense FAR Supplement (DFARS) Part 214

214.307 Award

Status: active

L0:214.307 Award

214.307-70 Only one offer received

Status: active

L0:214.307-70 Only one offer received.

L0:If only one offer is received for acquisitions that exceed the simplified acquisition threshold, follow the procedures at 215.371.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 14

L0:Defense FAR Supplement (DFARS) Part 214

L0:PGI 214?SEALED BIDDING

L0:PGI 214.3?EVALUATION AND AWARD

L0:PGI 214.304 Mistakes in Bids.

L0:PGI 214.304-3 Other mistakes disclosed before award.

L1:(e) For the defense agencies, authority for making the determination under FAR 14.304-3 is

L0:delegated, without power of redelegation, as follows:

L1:(i) Defense Advanced Research Projects Agency: General Counsel, DARPA.

L1:(ii) Defense Information Systems Agency: General Counsel, DISA.

L1:(iii) Defense Intelligence Agency: Principal Assistant for Acquisition.

L1:(iv) Defense Logistics Agency:

L1:(A) General Counsel, DLA; and

L1:(B) Associate General Counsel, DLA.

L1:(v) National Geospatial-Intelligence Agency: General Counsel, NGA.

L1:(vi) Defense Threat Reduction Agency: General Counsel, DTRA.

L1:(vii) National Security Agency: Director of Procurement, NSA.

L1:(viii) Missile Defense Agency: General Counsel, MDA.

L1:(ix) Defense Contract Management Agency: General Counsel, DCMA.

L0:1

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PART 15

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

215.100 Scope

Status: active

L0:215.100 Scope.

215.102 Structuring a request for proposals

Status: active

L0:215.102 Structuring a request for proposals.

L0:See PGI 205.101-70 for use of the Solicitation Module within the Procurement

L0:Integrated Enterprise Environment.

215.103 Developing a competitive source selection approach

Status: active

L0:215.103 Developing a competitive source selection approach.

215.103-1 Tradeoff approach

Status: active

L0:215.103-1 Tradeoff approach.

215.103-170 Tradeoff approach when acquiring fuel for overseas

Status: active

L0:215.103-170 Tradeoff approach when acquiring fuel for overseas

L0:contingency operations.

L1:(a) Consider using a tradeoff approach as described at FAR 15.103-1 when

L0:conducting a source selection for the acquisition of fuel for an overseas contingency

L0:operation that is expected to exceed the simplified acquisition threshold (section 843

L0:of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2022 (Pub.

L0:L. 117-81)). Consider using the following evaluation factors for the acquisition:

L1:(1) Past performance.

L1:(2) Cost.

L1:(3) Anticorruption training.

L1:(4) Anticorruption compliance.

L1:(b) If not considered, prior to the issuance of the solicitation, prepare a written

L0:justification describing the reasons why a tradeoff approach was not considered.

L1:(1) Obtain approval by an official one level above the contracting officer.

L1:(2) Include the approved justification in the contract file.

215.103-2 Lowest price technically acceptable approach

Status: active

L0:215.103-2 Lowest price technically acceptable approach.

215.103-270 Limitations and prohibitions

Status: active

L0:215.103-270 Limitations and prohibitions.

L0:The following limitations and prohibitions apply when considering the use of the

L0:lowest price technically acceptable source selection procedures.

L1:(a) Limitations. Section 813 of the NDAA for FY 2017 (Pub. L. 114-328) limits

L0:use of the lowest price technically acceptable source selection approach.

L1:(1) Use the lowest price technically acceptable source selection approach

L0:when?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(i) Minimum requirements can be described clearly and comprehensively

L0:and expressed in terms of performance objectives, measures, and standards that

L0:will be used to determine the acceptability of offers,

L1:(ii) No, or minimal, value will be realized from a proposal that exceeds

L0:the minimum technical or performance requirements,

L1:(iii) The proposed technical approaches will require no, or minimal,

L0:subjective judgment by the source selection authority as to the desirability of one

L0:offeror's proposal versus a competing proposal,

L1:(iv) The source selection authority has a high degree of confidence that

L0:reviewing the technical proposals of all offerors would not result in the

L0:identification of characteristics that could provide value or benefit,

L1:(v) No, or minimal, additional innovation or future technological

L0:advantage will be realized by using a different source selection approach,

L1:(vi) The acquisition consists of goods that are predominantly expendable

L0:in nature, are nontechnical, or have a short life expectancy or short shelf life (See

L0:PGI 215.103.270(a)(1)(vi))

L1:(vii) The contract file contains a determination that the lowest price

L0:reflects full life-cycle costs (as defined at FAR 7.101) of the product(s) or service(s)

L0:being acquired (see PGI 215.103.270(a)(1)(vii) for information on obtaining this

L0:determination), and

L1:(viii) The contracting officer documents the contract file describing the
L0:circumstances justifying the use of the lowest price technically acceptable source
L0:selection approach.

L1:(2) Avoid using the lowest price technically acceptable source selection
L0:approach, to the maximum extent practicable, for acquisitions that are
L0:predominately for?

L1:(i) Information technology services, cybersecurity services, systems
L0:engineering and technical assistance services, advanced electronic testing, or other
L0:knowledge-based professional services;

L1:(ii) Items designated by the requiring activity as personal protective
L0:equipment (except see paragraph (b)(1) of this section); or

L1:(iii) Services designated by the requiring activity as knowledge-based
L0:training or logistics services in contingency operations or other operations outside
L0:the United States.

L1:(b) Prohibitions. Do not use the lowest price technically acceptable source
L0:selection approach to procure?

L1:(1) Items designated by the requiring activity as personal protective
L0:equipment or as an aviation critical safety item, for which the level of quality or
L0:failure of the equipment or item could result in combat casualties. (Section 814 of
L0:the NDAA for FY 2017 (Pub. L. 114-328) and section 882 of the NDAA for FY 2018
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215
L0:(Pub. L. 115-91)). See 252.209-7010 for the definition and identification of critical
L0:safety items.

L1:(2) Engineering and manufacturing development for a major defense
L0:acquisition program (10 U.S.C. 4232).

L1:(3) Auditing services. Make award decisions based on best value factors and
L0:criteria, as determined by the resource sponsor in accordance with agency
L0:procedures. (10 U.S.C. 240f)

215.103-70 Source selection approach when acquiring tents or other

Status: active

L0:215.103-70 Source selection approach when acquiring tents or other
L0:temporary structures.

L1:(a) When acquiring tents or other temporary structures for use by the Armed
L0:Forces, award contracts that provide the best value to the Government (section 368
L0:of the NDAA for FY 2012 (Pub. L. 112-81)).

L1:(1) Temporary structures are nonpermanent buildings, including tactical
L0:shelters, nonpermanent modular or pre-fabricated buildings, or portable or
L0:relocatable buildings, such as trailers or equipment configured for occupancy (see
L0:also 246.270-2).

L1:(2) Determination of best value includes consideration of the total life-cycle
L0:costs of such tents or structures, including the costs associated with any equipment,

L0:fuel, or electricity needed to heat, cool, or light such tents or structures (see FAR L0:7.103(a)(6) and PGI 207.104-70 (b)(1)(ii)).

L1:(b) The requirements of this section apply to any agency or department that

L0:acquires tents or other temporary structures on behalf of DoD (see FAR

L0:17.503(d)(2)).

215.104-70 Establishing competitive evaluation factors and significant

Status: active

L0:215.104-70 Establishing competitive evaluation factors and significant

L0:subfactors.

L0:Required factors.

L1:(a) In acquisitions that require use of the clause at FAR 52.219-9, Small

L0:Business Subcontracting Plan, other than those based on the lowest price

L0:technically acceptable source selection process (see FAR 15.103-2), the extent of

L0:participation of small businesses to include service-disabled veteran-owned small

L0:business concerns, HUBZone small business concerns, small disadvantaged

L0:business concerns, and women-owned small business concerns in performance of the

L0:contract must be addressed in source selection. The contracting officer must

L0:evaluate the extent to which offerors identify and commit to small business

L0:performance of the contract, whether as a joint venture, teaming arrangement, or

L0:subcontractor.

L1:(1) See PGI 215.104-70(a)(1) for examples of evaluation factors.

L1:(2) Proposals addressing the extent of small business performance must be

L0:separate from subcontracting plans submitted pursuant to the clause at FAR

52.219-9 to facilitate compliance with 252.219-7996(e) (15 U.S.C. 637(d)(7) and (9))

Status: active

L0:52.219-9 to facilitate compliance with 252.219-7996(e) (15 U.S.C. 637(d)(7) and (9)).

L1:(b) Consider the purchase of capital assets (including machine tools)

L0:manufactured in the United States, in source selections for all major defense

L0:acquisition programs (10 U.S.C. 4293).

L1:(c) Include an evaluation factor regarding supply chain risk (see subpart

L0:240.271) when acquiring information technology, whether as a service or as a

L0:applic that is a covered system, is a part of a covered system, or is in support of a

L0:covered system (See 240.271-2). For additional guidance see PGI 215.104-70(c).

L1:(d) Ensure source selections emphasize sustainment factors and objective

L0:reliability and maintainability evaluation criteria in competitive contracts for

L0:the?

L1:(1) Technical maturation and risk reduction phase of weapon system

L0:design (see guidance at PGI 207.104-70(b)(2)(v)(B)(2));

L1:(2) Engineering and manufacturing development phase of a weapon

L0:system, including embedded software (10 U.S.C. 4328); or

L1:(3) Production and deployment phase of a weapon system, including
L0:embedded software (10 U.S.C. 4328).
L1:(e) See PGI 226.7202-1 for an additional evaluation factor required in
L0:solicitations when using the Demonstration Project for Contractors Employing
L0:Persons with Disabilities (section 888 of the NDAA for FY 2019).
L1:(f) Supplier Performance Risk System
L1:(1) When procuring supplies or services, use Supplier Performance Risk
L0:System (SPRS) assessments of price risk and supplier risk as a part of the award
L0:decision. See 204.7603.
L1:(2) When procuring an end product identified by a material identifier that is
L0:available as described at PGI 204.7603, the contracting officer must also consider
L0:SPRS assessments of item risk in the award decision.
L1:(g) In lieu of the direction at FAR 15.104(b)(3)(i), evaluate past performance for
L0:negotiated acquisitions when the value of the contract, task order or delivery order
L0:exceeds the following thresholds:
L1:(1) Systems and operations support (including fuels) expected to exceed \$5
L0:million.
L1:(2) Services (including health care) expected to exceed \$1 million.
L1:(3) Information technology expected to exceed \$1 million.
L1:(4) Ship repair and overhaul expected to exceed \$500,000.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215

215.104-71 Evaluation factor for employing or subcontracting with

Status: active

L0:215.104-71 Evaluation factor for employing or subcontracting with
L0:members of the Selected Reserve.
L1:(a) Definition. As used in this section?
L0:Selected Reserve,? has the meaning given that term in 10 U.S.C. 10143.
L0:Selected Reserve members normally attend regular drills throughout the year and
L0:are the group of Reserves most readily available to the President.
L1:(b) Evaluation factor.
L0:Contracting officers may use an evaluation factor that considers whether an
L0:offeror intends to perform the contract using employees or individual subcontractors
L0:who are members of the Selected Reserve (section 819 of the NDAA for FY 2006).
L0:See PGI 215.104-71(b) for guidance on use of this evaluation factor.
L1:(c) Contract clause.
L0:Insert the clause at 252.215-7006, Use of Employees or Individual
L0:Subcontractors Who Are Members of the Selected Reserve, in solicitations and
L0:resulting contracts that include an evaluation factor considering whether an offeror
L0:intends to perform the contract using employees or individual subcontractors who
L0:are members of the Selected Reserve.

215.105 Other considerations

Status: active

L0:215.105 Other considerations.

215.105-470 Request for cost or pricing data

Status: active

L0:215.105-470 Request for cost or pricing data.

L1:(a) When following the contract cost principles in FAR subpart 31.2, Contracts

L0:With Commercial Organizations (see FAR 42.1301(b)), request contractors submit

L0:forward pricing rate proposals using the checklist at Table 215.105-470 (FAR

L0:15.105-4(b)(1)(ii)). Provide the checklist to the contractor and require submission of

L0:the forward pricing rate proposal at least 90 days prior to the proposed effective

L0:date of the rates.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:Table 215.105-470 - Contractor Forward Pricing Rate Proposal Adequacy

L0:Checklist

L0:Complete the following checklist, providing the location of requested information, or an

L0:explanation of why the requested information is not provided, and submit it with the

L0:forward pricing rate proposal.

L0:Contractor Forward Pricing Rate Proposal Adequacy Checklist

L0:SUBMISSION

L0:ITEM

L0:PROPOSAL

L0:PAGE No. (if

L0:applicable)

L0:If not provided,

L0:EXPLAIN (may

L0:use

L0:continuation

L0:pages)

L0:GENERAL INSTRUCTIONS

L0:Proposal

L0:Cover Page

L0:1.

L0:Is there a properly completed first page

L0:of the proposal as specified by the

L0:contracting officer?

L0:Initial proposal elements include:

L0:a. Name and address of contractor;

L0:b. Name and telephone number of

L0:point of contact;

L0:c. Period covered;

L0:d. The page of the proposal that

L0:addresses?

L0:1. Whether your organization is subject

L0:to cost accounting standards (CAS);

L0:2. Whether your organization has

L0:submitted a CAS Disclosure Statement,

L0:and whether it has been determined

L0:adequate;

L0:3. Whether you have been notified that

L0:you are or may be in noncompliance

L0:with your Disclosure Statement or CAS

L0:(other than a noncompliance that the

L0:cognizant Federal agency official had

L0:determined to have an immaterial cost

L0:impact), and if yes, an explanation;

L0:4. Whether any aspect of this proposal

L0:is inconsistent with your disclosed

L0:practices or applicable CAS, and, if so,

L0:an explanation; and whether the

L0:proposal is consistent with established

L0:estimating and accounting principles

L0:and procedures and FAR part 31, Cost

L0:Principles, and, if not, an explanation;

L0:e. The following statement: ?This

L0:forward pricing rate proposal reflects

L0:our estimates, as of the date of

L0:submission entered in (f) below and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:SUBMISSION

L0:ITEM

L0:PROPOSAL

L0:PAGE No. (if

L0:applicable)

L0:If not provided,

L0:EXPLAIN (may

L0:use

L0:continuation

L0:pages)

L0:GENERAL INSTRUCTIONS

L0:conforms with Table 215.105-470. By

L0:submitting this proposal, we grant the

L0:Contracting Officer and authorized

L0:representative(s) the right to examine
L0:those records, which include books,
L0:documents, accounting procedures and
L0:practices, and other data, regardless of
L0:type and form or whether such
L0:supporting information is specifically
L0:referenced or included in the proposal
L0:as the basis for each estimate, that will
L0:permit an adequate evaluation of the
L0:proposed rates and factors.?
L0:f. Date of submission; and
L0:g. Name, title, and signature of
L0:authorized representative.

L0:2.

L0:Summary of proposed direct and
L0:indirect rates and factors, including the
L0:proposed pool and base costs for each
L0:proposed indirect rate and factor.

L0:Immediately

L0:following the

L0:proposal

L0:cover page

L0:Table of Contents or index.

L0:a. Does the proposal include a table of

L0:contents or index identifying and

L0:referencing all supporting data

L0:accompanying or identified in the

L0:proposal?

L0:b. For supporting documentation not

L0:provided with the proposal, does the

L0:basis of each estimate in the proposal

L0:include the location of the

L0:documentation and the point of contact

L1:(custodian) name, phone number, and

L0:email address?

L0:Does the proposal disclose known or

L0:anticipated changes in business

L0:activities or processes that could

L0:materially impact the proposed rates (if

L0:not previously provided)? For

L0:example?

L0:a. Management initiatives to reduce

L0:costs;

L0:3.

L0:4.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:SUBMISSION

L0:ITEM

L0:PROPOSAL

L0:PAGE No. (if

L0:applicable)

L0:If not provided,

L0:EXPLAIN (may

L0:use

L0:continuation

L0:pages)

L0:GENERAL INSTRUCTIONS

L0:b. Changes in management objectives

L0:as a result of economic conditions and

L0:increased competitiveness;

L0:c. Changes in accounting policies,

L0:procedures, and practices including (i)

L0:reclassification of expenses from direct

L0:to indirect or vice versa; (ii) new

L0:methods of accumulating and allocating

L0:indirect costs and the related impact;

L0:and (iii) advance agreements;

L0:d. Company reorganizations (including

L0:acquisitions or divestitures);

L0:e. Shutdown of facilities; or

L0:f. Changes in business volume and/or

L0:contract mix/type.

L0:Do proposed costs based on judgmental

L0:factors include an explanation of the

L0:estimating processes and methods used,

L0:including those used in projecting from

L0:known data?

L0:Does the proposal show trends and

L0:budgetary data? Does the proposal

L0:provide an explanation of how the data,

L0:as well as any adjustments to the data,

L0:were used?

L0:The proposal should reconcile to the

L0:supporting data referenced. If the

L0:proposal does not reconcile to the

L0:supporting data referenced, identify

L0:applicable page(s) and explain.

L0:The proposal should be internally
L0:consistent. If the proposal is not
L0:internally consistent, identify
L0:applicable page(s) and explain.
L0:Direct Labor
L0:Direct Labor Rates Methodology and
L0:Basis of Each Estimate.
L0:a. Does the proposal include an
L0:explanation of the methodology used to
L0:develop the direct labor rates and
L0:identify the basis of each estimate?

L0:5.

L0:6.

L0:7.

L0:8.

L0:9.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215

L0:SUBMISSION

L0:ITEM

L0:PROPOSAL

L0:PAGE No. (if
L0:applicable)
L0:If not provided,
L0:EXPLAIN (may
L0:use
L0:continuation
L0:pages)

L0:GENERAL INSTRUCTIONS

L0:b. Does the proposal include or identify
L0:the location of the supporting
L0:documents for the base-period labor
L0:rates (e.g., payroll records)?
L0:Does the proposal identify escalation
L0:factors for the out-year labor rates, the
L0:costs to which escalation is applicable,
L0:and the basis of each factor used?
L0:Does the proposal identify planned or
L0:anticipated changes in the composition
L0:of labor rates, labor categories, union
L0:agreements, headcounts, or other
L0:factors that could significantly impact
L0:the direct labor rates?
L0:Indirect Rates (Fringe, Overhead, G&A, etc.)

L0:Indirect Rates Methodology and Basis

L0:of Each Estimate.

L0:a. Does the proposal identify the basis

L0:of each estimate and provide an

L0:explanation of the methodology used to

L0:develop the indirect rates?

L0:b. Does the proposal include or identify

L0:the location of the supporting

L0:documents for the proposed rates?

L0:Does the proposal identify indirect

L0:expenses by burden center, by cost

L0:element, by year (including any

L0:voluntary deletions, if applicable) in a

L0:format that is consistent with the

L0:accounting system used to accumulate

L0:actual expenses?

L0:Does the proposal identify any

L0:contingencies?

L0:Does the proposal identify planned or

L0:anticipated changes in the nature, type,

L0:or level of indirect costs, including

L0:fringe benefits?

L0:Does the proposal identify corporate,

L0:home office, shared services, or other

L0:10.

L0:11.

L0:12.

L0:13.

L0:14.

L0:15.

L0:16.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:SUBMISSION

L0:ITEM

L0:PROPOSAL

L0:PAGE No. (if

L0:applicable)

L0:If not provided,

L0:EXPLAIN (may

L0:use

L0:continuation

L0:pages)

L0:GENERAL INSTRUCTIONS

L0:incoming allocated costs and the source

L0:for those costs, including location and

L0:point of contact (custodian) name,

L0:phone number, and email address?

L0:Does the proposal separately identify

L0:all intermediate cost pools and provide

L0:a reconciliation to show where the costs

L0:will be allocated?

L0:Does the proposal identify the

L0:escalation factors used to escalate

L0:indirect costs for the out-years, the

L0:costs to which escalation is applicable,

L0:and the basis of each factor used?

L0:17.

L0:18.

L0:19.

L0:Does the proposal provide details of the

L0:development of the allocation base?

L0:20.

L0:21.

L0:22.

L0:Does the proposal include or reference

L0:the supporting data for the allocation

L0:base such as program budgets,

L0:negotiation memoranda, proposals,

L0:contract values, etc.?

L0:Does the proposal identify how the

L0:proposed allocation bases reconcile with

L0:its long-range plans, strategic plan,

L0:operating budgets, sales forecasts,

L0:program budgets, etc.?

L0:Cost of Money (COM)

L0:Cost of Money.

L0:a. Are Cost of Money rates submitted

L0:on Form CASB-CMF, with the Treasury

L0:Rate used to compute COM identified

L0:and a summary of the net book value of

L0:assets, identified as distributed and

L0:non-distributed?

L0:b. Does the proposal identify the

L0:support for the Form CASB-CMF, for

L0:example, the underlying reports and

L0:records supporting the net book value of

L0:assets contained in the form?

L0:OTHER

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:SUBMISSION

L0:ITEM

L0:PROPOSAL

L0:PAGE No. (if

L0:applicable)

L0:If not provided,

L0:EXPLAIN (may

L0:use

L0:continuation

L0:pages)

L0:GENERAL INSTRUCTIONS

L0:23.

L0:24.

L0:Does the proposal include a comparison

L0:of prior forecasted costs to actual

L0:results in the same format as the

L0:proposal and an explanation/analysis of

L0:any differences?

L0:If this is a revision to a previous rate

L0:proposal or a forward pricing rate

L0:agreement, does the new proposal

L0:provide a summary of the changes in

L0:the circumstances or the facts that the

L0:contractor asserts require the change to

L0:the rates?

215.105-5 Make-or-buy decision

Status: active

L0:215.105-5 Make-or-buy decision.

L2:(c)(2) RFP requirements. See PGI 215.105-5, for guidance on factors to consider

L0:when deciding whether to request a make-or-buy plan.

L1:(d) Required information from offerors.

L2:(1)(i) The minimum dollar amount is \$1.5 million.

215.110 Solicitation provisions and contract clauses

Status: active

L0:215.110 Solicitation provisions and contract clauses.

L2:(a)(1) For source selections when the procurement is valued at \$100 million or

L0:more, contracting officers should use the provision at FAR 52.215-1, Instructions to
L0:Offerors?Competitive Acquisition, with its Alternate I.

215.110-70 Solicitation provisions and contract clauses

Status: active

L0:215.110-70 Solicitation provisions and contract clauses.

L1:(a) Insert the clause at 252.215-7002, Cost Estimating System Requirements, in
L0:all solicitations and contracts to be awarded on the basis of certified cost or pricing
L0:data.

L1:(b) When contracting with the Canadian Commercial Corporation, including
L0:solicitations using part 12 procedures for the acquisition of commercial products
L0:and commercial services?

L2:(1)(i) Insert the provision at 252.215-7990, Requirement for Submission of
L0:Data Other Than Certified Cost or Pricing Data?Canadian Commercial
L0:Corporation?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215

L1:(A) In lieu of 252.215-7994, Requirements for Certified Cost or
L0:Pricing Data and Data Other Than Certified Cost or Pricing Data, in a solicitation
L0:for a sole source acquisition that is?
L0:exceed \$700,000; or

L1:(1) Cost-reimbursement, if the contract value is expected to
L0:million; or

L1:(2) Fixed-price, if the contract value is expected to exceed \$500

L1:(B) In lieu of 252.215-7994 for a sole source acquisition that does not
L0:meet the thresholds specified in paragraph (b)(1)(i)(A), if approval is obtained as
L0:required at 225.870-4(c)(2)(ii); and

L1:(ii) Do not use 252.225-7990 in lieu of 252.215-7994 in competitive
L0:acquisitions; and

L2:(2)(i) Insert the clause at 252.215-7991, Requirement for Submission of
L0:Data Other Than Certified Cost or Pricing Data?Modifications?Canadian
L0:Commercial Corporation?
L0:contract that is?

L1:(A) In a solicitation for a sole source acquisition and resultant
L0:exceed \$700,000; or

L1:(1) Cost-reimbursement, if the contract value is expected to
L0:million;

L1:(2) Fixed-price, if the contract value is expected to exceed \$500

L1:(B) In a solicitation for a sole source acquisition and resultant
L0:contract that does not meet the thresholds specified in paragraph (b)(2)(i)(A), if
L0:approval is obtained as required at 225.870-4(c)(2)(ii); or

L2:(C)(1) In a solicitation for a competitive acquisition that includes
L0:FAR 52.215-21, Requirement for Data Other Than Certified Cost or Pricing Data?

L0:Modifications, or that meets the thresholds specified in paragraph (b)(2)(i)(A) of this L0:section.

L1:(2) Insert the appropriate clause to include in the contract

L0:(52.215-21 only if award is not to the Canadian Commercial Corporation; or

252.215-7991 Requirement for Submission of Data Other Than Certified

Status: active

L0:252.215-7991 Requirement for Submission of Data Other Than Certified

L0:Cost or Pricing Data?Modifications?Canadian Commercial Corporation.

L0:(DEVIATION 2026-O0048)

L0:As prescribed at 215.110-70(b)(2)(i), use the following clause:

L0:REQUIREMENT FOR SUBMISSION OF DATA OTHER THAN CERTIFIED COST

L0:OR PRICING DATA?MODIFICATIONS?CANADIAN COMMERCIAL

L0:CORPORATION (DEVIATION 2026-O0048) (MAR 2026)

L0:This clause, in lieu of FAR 52.215-21, applies only if award is to the Canadian

L0:Commercial Corporation.

L1:(a) Submission of certified cost or pricing data is not required.

L1:(b) Canadian Commercial Corporation shall obtain and provide the following for

L0:modifications that exceed the \$150,000 [or higher dollar value specified by the U.S.

L0:Contracting Officer in the solicitation].

L1:(i) Profit rate or fee (as applicable).

L1:(ii) Analysis provided by Public Works and Government Services Canada to

L0:the Canadian Commercial Corporation to determine a fair and reasonable price

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:(comparable to the analysis required at FAR 15.404).

L1:(iii) Data other than certified cost or pricing data necessary to permit a

L0:determination by the U.S. Contracting Officer that the proposed price is fair and

L0:reasonable [U.S. Contracting Officer to insert description of the data required in

L0:accordance with FAR 15.403-1].

252.215-7994 Requirements for Certified Cost of Pricing Data and Data

Status: active

L0:252.215-7994 Requirements for Certified Cost of Pricing Data and Data

L0:Other Than Certified Cost or Pricing Data. (DEVIATION 2026-O0048)

L0:Basic. As prescribed in 215.110-70(e)(1) and (e)(1)(i), use the following provision:

L0:REQUIREMENTS FOR CERTIFIED COST OR PRICING DATA AND DATA

L0:OTHER THAN CERTIFIED COST OR PRICING DATA?BASIC (DEVIATION

L0:2026-O0048) (MAR 2026)

L1:(a) Definitions. As used in this provision?

L0:?Market prices? means current prices that are established in the course of

L0:ordinary trade between buyers and sellers free to bargain and that can be
L0:substantiated through competition or from sources independent of the offerors.
L0:Non-Government sales? means sales of the supplies or services to non-
L0:Governmental entities for purposes other than governmental purposes.
L0:Relevant sales data? means information provided by an offeror on sales of the
L0:same or similar items that can be used to establish price reasonableness taking into
L0:consideration the age, volume, and nature of the transactions (including any related
L0:discounts, refunds, rebates, offsets, or other adjustments).
L0:Sufficient non-Government sales? means relevant sales data that reflects
L0:market pricing and contains enough information to make adjustments covered by
L0:FAR 15.404-1(b)(2)(ii).
L0:Uncertified cost data? means the subset of data other than certified cost or
L0:pricing data? (see FAR 2.101) that relates to cost.
L1:(b) Exceptions from certified cost or pricing data.
L1:(1) In lieu of submitting certified cost or pricing data, the Offeror may
L0:submit a written request for exception by submitting the information described in
L0:paragraphs (b)(1)(i) and (ii) of this provision. The Contracting Officer may require
L0:additional supporting information, but only to the extent necessary to determine
L0:whether an exception should be granted and whether the price is fair and
L0:reasonable.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215
L1:(i) Exception for prices set by law or regulation - Identification of the law
L0:or regulation establishing the prices offered. If the prices are controlled under law
L0:by periodic rulings, reviews, or similar actions of a governmental body, attach a
L0:copy of the controlling document, unless it was previously submitted to the
L0:contracting office.
L1:(ii) Commercial product or commercial service exception. For a
L0:commercial product or commercial service exception, the Offeror shall submit, at a
L0:minimum, information that is adequate for determining commerciality and
L0:evaluating the reasonableness of the price for this acquisition, including prices at
L0:which the same product or service or similar products or services have been sold in
L0:the commercial market. Such information shall include?
L1:(A) For products or services previously determined to be commercial,
L0:the contract number and military department, defense agency, or other DoD
L0:component that rendered such determination, and if available, a Government point
L0:of contact;
L1:(B) For subsystems of a major weapon system and components and
L0:spare parts of a major weapon system or subsystem of a major weapon system that
L0:have not previously been determined to be commercial?
L0:general public or nongovernmental entities;
L1:(1) The comparable commercial product the Offeror sells to the
L1:(2) A comparison between the physical characteristics and
L0:functionality of the comparable commercial product and the subsystem, component,
L0:or spare part, including?

L1:(i) For products under paragraph (3)(i) of the ?commercial
L0:product? definition at FAR 2.101, a description of the modification and
L0:documentation to support that the modification is customarily available in the
L0:marketplace; or

L1:(ii) For products under paragraph (3)(ii) of the ?commercial
L0:product? definition at FAR 2.101, a detailed description of the modification and
L0:detailed technical data to demonstrate that the modification is minor (e.g.,
L0:information on production processes and material differences); and

L1:(3) The national stock number (NSN) for the comparable
L0:commercial product, if one is assigned, and the NSN for the subsystem, component,
L0:or spare part, if one is assigned; or

L1:(4) If the Offeror does not sell a comparable commercial product
L0:to the general public or nongovernmental entities for purposes other than
L0:government purposes, the Offeror shall?
L0:sell such a comparable product; and

L1:(i) Notify the Contracting Officer in writing that it does not
L0:physical characteristics and functionality of the most comparable commercial
L0:product in the commercial market.

L1:(ii) Provide the Contracting Officer with a comparison of the
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215

L1:(C) For items priced based on a catalog?
L0:showing the price for that item; and

L1:(1) A copy of or identification of the Offeror?s current catalog

L1:(2) If the catalog pricing provided with this proposal is not
L0:consistent with all relevant sales data, a detailed description of differences or
L0:inconsistencies between or among the relevant sales data, the proposed price, and
L0:the catalog price (including any related discounts, refunds, rebates, offsets, or other
L0:adjustments);

L1:(D) For items priced based on market pricing, a description of the
L0:nature of the commercial market, the methodology used to establish a market price,
L0:and all relevant sales data. The description shall be adequate to permit DoD to
L0:verify the accuracy of the description;

L1:(E) For items included on an active Federal Supply Service Multiple
L0:Award Schedule contract, proof that an exception has been granted for the schedule
L0:item; or

L1:(F) For items provided by nontraditional defense contractors, a
L0:statement that the entity is not currently performing and has not performed, for at
L0:least the 1-year period preceding the solicitation of sources by DoD for the
L0:procurement or transaction, any contract or subcontract for DoD that is subject to
L0:full coverage under the cost accounting standards prescribed pursuant to 41 U.S.C.
L0:1502 and the regulations implementing such section.

L1:(2) The Offeror grants the Contracting Officer or an authorized
L0:representative the right to examine, at any time before award, books, records,
L0:documents, or other directly pertinent records to verify any request for an exception

L0:under this provision, and to determine the reasonableness of price.

L1:(c) Requirements for certified cost or pricing data. If the Offeror is not granted

L0:an exception from the requirement to submit certified cost or pricing data, the

L0:following applies:

L1:(1) The Offeror shall prepare and submit certified cost or pricing data and

L0:supporting attachments in accordance with the instructions contained in Table 15-1

L0:of FAR 15.408-2, which is incorporated by reference with the same force and effect

L0:as though it were inserted here in full text. The instructions in Table 15-1 are

L0:incorporated as a mandatory format to be used in any resultant contract, unless the

L0:Contracting Officer and the Offeror agree to a different format and change this

L0:provision to use Alternate I.

L1:(2) As soon as practicable after agreement on price, but before contract

L0:award (except for unpriced actions such as letter contracts), the Offeror shall submit

L0:a Certificate of Current Cost or Pricing Data, as prescribed by FAR 15.403-4.

L1:(3) The Offeror is responsible for determining whether a subcontractor

L0:qualifies for an exception from the requirement for submission of certified cost or

L0:pricing data on the basis of adequate price competition, i.e., two or more responsible

L0:offerors, competing independently, submit priced offers that satisfy the

L0:Government's expressed requirement in accordance with FAR 15.403-2(c)(1)(ii).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(d) Requirements for data other than certified cost or pricing data.

L1:(1) Data other than certified cost or pricing data submitted in accordance

L0:with this provision shall include the minimum information necessary to permit a

L0:determination that the proposed price is fair and reasonable, to include the

L0:requirements in Defense Federal Acquisition Regulation Supplement (DFARS)

L0:215.402-70(a)(1), 215.404-170, and 234.7002(e).

L1:(2) In cases in which uncertified cost data is required, the information shall

L0:be provided in the form in which it is regularly maintained by the Offeror or

L0:prospective subcontractor in its business operations.

L1:(3) If the Offeror redacts data that identifies the customer (see DFARS

L0:234.7002(e)(2)), then the Offeror shall include, for each sale, the following signed

L0:statement with the data submitted:

L0:By submission of this data, the Offeror [Offeror insert company name] certifies

L0:that the customer was [Offeror insert one or more of the following as applicable: a

L0:government customer; a commercial customer purchasing the same or similar

L0:product for governmental purposes (e.g., Federal, state, local, or foreign

L0:government); or a commercial customer purchasing the same or similar product

L0:for a commercial, mixed, or unknown purpose].?

L1:(4) Within 10 days of a written request from the Contracting Officer for

L0:additional information to permit an adequate evaluation of the proposed price in

L0:accordance with FAR 15.403-1 or DFARS 234.7002(e), the Offeror shall provide

L0:either the requested information, or a written explanation for the inability to fully

L0:comply.

L1:(5) Subcontract price evaluation.

L1:(i) Offerors shall obtain from subcontractors the minimum information
L0:necessary to support a determination of price reasonableness, as described in FAR
L0:part 15 and DFARS part 215.

L1:(ii) No cost data may be required from a prospective subcontractor in
L0:any case in which there are sufficient non-Government sales of the same item to
L0:establish reasonableness of price.

L1:(iii) If the Offeror relies on relevant sales data for similar items to
L0:determine the price is reasonable, the Offeror shall obtain only that technical
L0:information necessary?

L1:(A) To support the conclusion that items are technically similar; and
L0:between the proposed prices and the sales data presented.

L1:(B) To explain any technical differences that account for variances

L1:(e) Subcontracts. The Offeror shall insert the substance of this provision,
L0:including this paragraph (e), in subcontracts exceeding the simplified acquisition
L0:threshold defined in FAR part 2. The Offeror shall require prospective
L0:subcontractors to adhere to the requirements of?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215

L1:(1) Paragraphs (c) and (d) of this provision for subcontracts above the
L0:threshold for submission of certified cost or pricing data in 215-403-3(a); and

L1:(2) Paragraph (d) of this provision for subcontracts exceeding the simplified
L0:acquisition threshold defined in FAR part 2.

L0:(End of provision)

L0:Alternate I. (DEVIATION 2026-O0048) As prescribed in 215.110-70(e)(1)
L0:and(e)(1)(ii), use the following provision, which includes a different paragraph (c)(1).

L0:REQUIREMENTS FOR CERTIFIED COST OR PRICING DATA AND DATA

L0:OTHER THAN CERTIFIED COST OR PRICING DATA?ALTERNATE I

L0:(DEVIATION 2026-O0048) (MAR 2026)

L1:(a) Definitions. As used in this provision?

L0:Market prices? means current prices that are established in the course of
L0:ordinary trade between buyers and sellers free to bargain and that can be
L0:substantiated through competition or from sources independent of the offerors.

L0:Non-Government sales? means sales of the supplies or services to non-
L0:Governmental entities for purposes other than governmental purposes.

L0:Relevant sales data? means information provided by an offeror on sales of the
L0:same or similar items that can be used to establish price reasonableness taking into
L0:consideration the age, volume, and nature of the transactions (including any related
L0:discounts, refunds, rebates, offsets, or other adjustments).

L0:Sufficient non-Government sales? means relevant sales data that reflects
L0:market pricing and contains enough information to make adjustments covered by
L0:Federal Acquisition Regulation (FAR) 15.404-1(b)(2)(ii).

L0:Uncertified cost data? means the subset of data other than certified cost or
L0:pricing data? (see FAR 2.101) that relates to cost.

L1:(b) Exceptions from certified cost or pricing data.

L1:(1) In lieu of submitting certified cost or pricing data, the Offeror may

L0:submit a written request for exception by submitting the information described in
L0:paragraphs (b)(1)(i) and (ii) of this provision. The Contracting Officer may require
L0:additional supporting information, but only to the extent necessary to determine
L0:whether an exception should be granted and whether the price is fair and
L0:reasonable.

L1:(i) Exception for price set by law or regulation - Identification of the law

L0:or regulation establishing the price offered. If the price is controlled under law by
L0:periodic rulings, reviews, or similar actions of a governmental body, attach a copy of
L0:the controlling document, unless it was previously submitted to the contracting
L0:office.

L1:(ii) Commercial product or commercial service exception. For a

L0:commercial product or commercial service exception, the Offeror shall submit, at a
L0:minimum, information that is adequate for determining commerciality and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215

L0:evaluating the reasonableness of the price for this acquisition, including prices at
L0:which the same product or service or similar products or services have been sold in
L0:the commercial market. Such information shall include?

L1:(A) For products or services previously determined to be commercial,

L0:the contract number and military department, defense agency, or other DoD
L0:component that rendered such determination, and if available, a Government point
L0:of contact;

L1:(B) For subsystems of a major weapon system and components and

L0:spare parts of a major weapon system or subsystem of a major weapon system that
L0:have not previously been determined to be commercial?

L0:general public or nongovernmental entities;

L1:(1) The comparable commercial product the Offeror sells to the

L1:(2) A comparison between the physical characteristics and

L0:functionality of the comparable commercial product and the subsystem, component,
L0:or spare part, including?

L1:(i) For products under paragraph (3)(i) of the ?commercial

L0:product? definition at FAR 2.101, a description of the modification and
L0:documentation to support that the modification is customarily available in the
L0:marketplace; or

L1:(ii) For products under paragraph (3)(ii) of the ?commercial

L0:product? definition at FAR 2.101, a detailed description of the modification and
L0:detailed technical data to demonstrate that the modification is minor (e.g.,
L0:information on production processes and material differences); and

L1:(3) The national stock number (NSN) for the comparable

L0:commercial product, if one is assigned, and the NSN for the subsystem, component,
L0:or spare part; or

L1:(4) If the Offeror does not sell a comparable commercial product

L0:to the general public or nongovernmental entities for purposes other than
L0:government purposes, the Offeror shall?

L0:sell such a comparable product; and

L1:(i) Notify the Contracting Officer in writing that it does not

L0:physical characteristics and functionality of the most comparable commercial

L0:product in the commercial market.

L1:(ii) Provide the Contracting Officer with a comparison of the

L1:(C) For items priced based on a catalog?

L0:showing the price for that item; and

L1:(1) A copy of or identification of the Offeror's current catalog

L1:(2) If the catalog pricing provided with this proposal is not

L0:consistent with all relevant sales data, a detailed description of differences or

L0:inconsistencies between or among the relevant sales data, the proposed price, and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:the catalog price (including any related discounts, refunds, rebates, offsets, or other

L0:adjustments);

L1:(D) For items priced based on market pricing, a description of the

L0:nature of the commercial market, the methodology used to establish a market price,

L0:and all relevant sales data. The description shall be adequate to permit DoD to

L0:verify the accuracy of the description;

L1:(E) For items included on an active Federal Supply Service Multiple

L0:Award Schedule contract, proof that an exception has been granted for the schedule

L0:item; or

L1:(F) For items provided by nontraditional defense contractors, a

L0:statement that the entity is not currently performing and has not performed, for at

L0:least the 1-year period preceding the solicitation of sources by DoD for the

L0:procurement or transaction, any contract or subcontract for DoD that is subject to

L0:full coverage under the cost accounting standards prescribed pursuant to 41 U.S.C.

L0:1502 and the regulations implementing such section.

L1:(2) The Offeror grants the Contracting Officer or an authorized

L0:representative the right to examine, at any time before award, books, records,

L0:documents, or other directly pertinent records to verify any request for an exception

L0:under this provision, and to determine the reasonableness of price.

L1:(c) Requirements for certified cost or pricing data. If the Offeror is not granted

L0:an exception from the requirement to submit certified cost or pricing data, the

L0:following applies:

L1:(1) The Offeror shall submit certified cost or pricing data and supporting

L0:attachments in the following format: [Insert description of the data and format that

L0:are required, and include access to records necessary to permit an adequate

L0:evaluation of the proposed price in accordance with FAR 15.408-2, Table 15-1, Note

L0:2. The Contracting Officer shall insert the description at the time of issuing the

L0:solicitation or specify that the format regularly maintained by the offeror or

L0:prospective subcontractor in its business operations will be acceptable. The

L0:Contracting Officer may amend the description as the result of negotiations.]

L1:(2) As soon as practicable after agreement on price, but before contract

L0:award (except for unpriced actions such as letter contracts), the Offeror shall submit

L0:a Certificate of Current Cost or Pricing Data, as prescribed by FAR 15.403-4.

L1:(3) The Offeror is responsible for determining whether a subcontractor

L0:qualifies for an exception from the requirement for submission of certified cost or

L0:pricing data on the basis of adequate price competition, i.e., two or more responsible

L0:offerors, competing independently, submit priced offers that satisfy the

L0:Government?s expressed requirement in accordance with FAR 15.403-2(c)(1)(ii).

L1:(d) Requirements for data other than certified cost or pricing data.

L1:(1) Data other than certified cost or pricing data submitted in accordance

L0:with this provision shall include all data necessary to permit a determination that

L0:the proposed price is fair and reasonable, to include the requirements in Defense

L0:Federal Acquisition Regulation Supplement (DFARS) 215.402-70(a)(1), 215.404-170,

L0:and 234.7002(e).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(2) In cases in which uncertified cost data is required, the information shall

L0:be provided in the form in which it is regularly maintained by the Offeror or

L0:prospective subcontractor in its business operations.

L1:(3) If the Offeror redacts data that identifies the customer (see DFARS

L0:234.7002(e)(2)), then the Offeror shall include, for each sale, the following signed

L0:statement with the data submitted:

L0:?By submission of this data, the Offeror [Offeror insert company name] certifies

L0:that the customer was [Offeror insert one or more of the following as applicable: a

L0:government customer (e.g., Federal, state, local, or foreign government); a

L0:commercial customer purchasing the same or similar product for governmental

L0:purposes; or a commercial customer purchasing the same or similar product for a

L0:commercial, mixed, or unknown purpose].?

L1:(4) The Offeror shall provide information described as follows: [Insert

L0:description of the data and the format that are required, including access to records

L0:necessary to permit an adequate evaluation of the proposed price in accordance with

215.200 Scope

Status: active

L0:215.200 Scope.

L0:Follow the procedures at PGI 215.200 when conducting negotiated, competitive

L0:acquisitions using FAR part 15 procedures.

215.201 Source selection responsibilities

Status: active

L0:215.201 Source selection responsibilities.

L2:(b)(2) For high-dollar value and other acquisitions, as prescribed by agency

L0:procedures, the source selection authority must approve a source selection plan

L0:before the solicitation is issued. Follow the procedures at PGI 215.201(b)(2) for

L0:preparation of the source selection plan.

215.202-70 Evaluating competitive proposals

Status: active

L0:215.202-70 Evaluating competitive proposals.

L1:(a) Past performance evaluation.

L1:(1) When a past performance evaluation is required by FAR 15.104, and the

L0:solicitation includes the clause at FAR 52.219-8, Utilization of Small Business

L0:Concerns, the evaluation factors must include the past performance of offerors in

L0:complying with requirements of that clause. When a past performance evaluation

L0:is required by FAR 15.104, and the solicitation includes the clause at FAR 52.219-9,

L0:Small Business Subcontracting Plan, the evaluation factors must include the past

L0:performance of offerors in complying with requirements of that clause.

L1:(2) Contracting officers will consider an offeror's failure to make a good faith

L0:effort to comply with its comprehensive subcontracting plan under the Test Program

L0:described at 219.702-70 as part of the evaluation of the past performance.

L1:(3) When evaluating the past performance of an offeror that is a small business

L0:concern in response to a competitive solicitation, contracting officers will consider

L0:relevant past performance information provided for affiliates of the offeror (section 865

L0:of Pub. L. 118-31).

215.202-71 Only one offer

Status: active

L0:215.202-71 Only one offer.

L1:(a) Policy. If only one offer is received in response to a competitive solicitation?

L1:(1) Take actions to promote competition (see 215.202-71(b)); and

L1:(2) Ensure that the price is fair and reasonable (see 215.202-71(c)) and

L0:complies with the statutory requirement for certified cost or pricing data (see FAR

15.403-3 and DFARS 215.403-3(a))

Status: active

L0:15.403-3 and DFARS 215.403-3(a)).

L1:(b) Promote competition. Except as provided in paragraphs 215.202-71(d) and

L0:215.202-71(e) of this section?

L1:(1) If only one offer is received when competitive procedures were used and

L0:the solicitation allowed fewer than 30 days for receipt of proposals, the contracting

L0:officer must?

L1:(i) Consult with the requiring activity as to whether the requirements

L0:document should be revised to promote more competition (see FAR 6.003(a) and

L0:11.102); and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(ii) Resolicit, allowing an additional period of at least 30 days for receipt

L0:of proposals; and

L1:(2) For competitive solicitations in which more than one potential offeror

L0:expressed an interest in an acquisition, but only one offer was ultimately received,

L0:follow the procedures at PGI 215.202-71(b)(2).

L1:(c) Fair and reasonable price and the requirement for additional cost or pricing

L0:data. For acquisitions that exceed the simplified acquisition threshold, if only one

L0:offer is received when competitive procedures were used and it is not necessary to

L0:resolicit in accordance with 215.202-71(b)(1), then the contracting officer must

L0:comply with the following:

L1:(1) If no additional cost or pricing data are required to determine through

L0:cost or price analysis that the offered price is fair and reasonable, the contracting

L0:officer must require that any cost or pricing data provided in the proposal be

L0:certified if the acquisition exceeds the certified cost or pricing data threshold and an

L0:exception to the requirement for certified cost or pricing data at FAR 15.403-2(b)(2)

L0:through (5) does not apply.

L1:(2) Otherwise, the contracting officer must obtain additional cost or pricing

L0:data to determine a fair and reasonable price. If the acquisition exceeds the

L0:certified cost or pricing data threshold and an exception to the requirement for

L0:certified cost or pricing data at FAR 15.403-2(b)(2) through (5) does not apply, the

L0:cost or pricing data must be certified.

L1:(3) If the contracting officer is still unable to determine that the offered

L0:price is fair and reasonable, the contracting officer must enter into negotiations

L0:with the offeror to establish a fair and reasonable price. The negotiated price

L0:should not exceed the offered price.

L1:(4) If the contracting officer is unable to negotiate a fair and reasonable

L0:price, see FAR 15.407(d).

L1:(d) Exceptions.

L1:(1) The requirements at 215.202-71(b) do not apply to?

L1:(i) Acquisitions at or below the simplified acquisition threshold;

L1:(ii) Acquisitions, as determined by the head of the contracting activity,

L0:in support of contingency or humanitarian or peacekeeping operations; to facilitate

L0:defense against or recovery from cyber, nuclear, biological, chemical, or radiological

L0:attack; to facilitate the provision of international disaster assistance; or to support

L0:response to an emergency or major disaster;

L1:(iii) Small business set-asides under FAR 19.104, set-asides offered and

L0:accepted into the 8(a) Program under FAR 19.108, or set-asides under the HUBZone

L0:Program (see FAR 19.105-2), the Service-Disabled Veteran-Owned Small Business

L0:Procurement Program (see FAR 19.106-2), or the Women-Owned Small Business

L0:Program (see FAR 19.107-2);

L1:(iv) Acquisitions of science and technology, as specified in 235.172;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(v) Acquisitions of architect-engineer services (see FAR 36.102-2);
L1:(vi) Acquisitions under a commercial solutions opening pursuant to
L0:subpart 212.70; or
L1:(vii) Acquisitions of commercial products and commercial services using
L0:FAR part 12 procedures.
L1:(2) An exception in paragraph (d)(1) of this section does not eliminate the
L0:need for the contracting officer to seek maximum practicable competition and to
L0:ensure that the price is fair and reasonable.
L1:(e) Waiver.
L1:(1) The head of the contracting activity is authorized to waive the
L0:requirement at 215.202-71(b) to resolicit for an additional period of at least 30 days.
L1:(2) This waiver authority cannot be delegated below one level above the
L0:contracting officer.
L1:(f) Solicitation provision. Insert the provision at 252.215-7007, Notice of Intent
L0:to Resolicit, in competitive solicitations that will be solicited for fewer than 30 days,
L0:unless an exception at 215.202-71(d) applies or the requirement is waived in
L0:accordance with 215.202-71(e).

215.204-2 Competitive negotiations

Status: active

L0:215.204-2 Competitive negotiations.
L1:(a) General. For acquisitions with an estimated value of \$100 million or more,
L0:contracting officers should conduct negotiations. Follow the procedures at FAR
L0:15.204.

215.206-1 Preaward notices

Status: active

L0:215.206-1 Preaward notices.
L0:If the Government exercises the authority provided in 240.271-6, the notifications to
L0:unsuccessful offerors must not reveal any information that is determined to be
L0:withheld from disclosure in accordance with 10 U.S.C. 3252 (see subpart 240.271).

215.207-2 Award notice

Status: active

L0:215.207-2 Award notice.
L0:If the Government exercises the authority provided in 240.271-6, the notifications to
L0:unsuccessful offerors must not reveal any information that is determined to be
L0:withheld from disclosure in accordance with 10 U.S.C. 3252 (see subpart 240.271).

215.301 Postaward debriefing of offerors

Status: active

L0:215.301 Postaward debriefing of offerors.

215.301-170 Debriefing process

Status: active

L0:215.301-170 Debriefing process.

L1:(a) Notwithstanding FAR 15.301-1(b), when requested by a successful or

L0:unsuccessful offeror, a written or oral debriefing is required for contract awards

L0:valued at \$15 million or more (section 818 of the National Defense Authorization

L0:Act (NDAA) for Fiscal Year (FY) 2018 (Pub. L. 115-91).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(b) In addition to the requirements of FAR 15.301-1(c), the minimum debriefing

L0:information must include the following:

L1:(1) For award of a contract in excess of \$15 million and not in excess of \$150

L0:million with a small business or nontraditional defense contractor, an option for the

L0:small business or nontraditional defense contractor to request disclosure of the

L0:agency's written source selection decision document, redacted to protect the

L0:confidential and proprietary information of other offerors for the contract award.

L1:(2) For award of a contract in excess of \$150 million, disclosure of the

L0:agency's written source selection decision document, redacted to protect the

L0:confidential and proprietary information of other offerors for the contract award.

L1:(c) If the Government exercises the authority provided in 240.271-6, the

L0:notifications to unsuccessful offerors must not reveal any information that is

L0:determined to be withheld from disclosure in accordance with 10 U.S.C. 3252 (see

L0:subpart 240.271).

215.301-270 Opportunity for follow-up questions

Status: active

L0:215.301-270 Opportunity for follow-up questions.

L0:When providing a required postaward debriefing to successful and unsuccessful

L0:offerors, contracting officers must?

L1:(a) Provide an opportunity to submit additional written questions related to the

L0:required debriefing not later than 2 business days after receiving the postaward

L0:debriefing;

L1:(b) Respond in writing to timely submitted additional questions within 5

L0:business days after receipt of the questions; and

L1:(c) Not consider the postaward debriefing to be concluded until the later of?

L1:(1) The date that the postaward debriefing is delivered, orally or in writing;

L0:or

L1:(2) If additional written questions related to the debriefing are timely
L0:received, the date the agency delivers its written response.

215.301-70 Solicitation provision

Status: active

L0:215.301-70 Solicitation provision.
L0:Insert the provision at 252.215-7996, Notification to Offerors?Postaward
L0:Debriefings, in competitive negotiated solicitations for contract awards valued at
L0:\$15 million or more, including solicitations using FAR part 12 procedures for the
L0:acquisition of commercial products and commercial services.

215.304-70 Voluntary disclosure of defective certified cost or pricing data

Status: active

L0:215.304-70 Voluntary disclosure of defective certified cost or pricing data
L0:after award.
L0:Use PGI 215.304-70 when a contractor voluntarily discloses defective pricing after
L0:contract award.

215.305 Estimating systems

Status: active

L0:215.305 Estimating systems.

215.305-70 Disclosure, maintenance, and review requirements

Status: active

L0:215.305-70 Disclosure, maintenance, and review requirements.
L1:(a) Definitions. As used in this section?
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215
L0:?Acceptable estimating system? means an estimating system that complies
L0:with the system criteria in paragraph (d) of 252.215-7002, Cost Estimating System
L0:Requirements, and provides for a system that?
L1:(1) Is maintained, reliable, and consistently applied;
L1:(2) Produces verifiable, supportable, documented, and timely cost estimates
L0:that are an acceptable basis for negotiation of fair and reasonable prices;
L1:(3) Is consistent with and integrated with the contractor?s related
L0:management systems; and
L1:(4) Is subject to applicable financial control systems.
L0:?Contractor? means a business unit as defined in FAR 2.101.

L0:Estimating system? means the contractor?s policies, procedures, and practices for budgeting and planning controls and for generating estimates of costs and other data included in proposals submitted to customers in the expectation of receiving contract awards. Estimating system includes the contractor?s?

L1:(1) Organizational structure;

L1:(2) Established lines of authority, duties, and responsibilities;

L1:(3) Internal controls and managerial reviews;

L1:(4) Flow of work, coordination, and communication; and

L1:(5) Budgeting, planning, estimating methods, techniques, accumulation of

historical costs, and other analyses used to generate cost estimates.

L1:(b) Applicability.

L1:(1) Contractors are required to have acceptable estimating systems that

consistently produce well-supported proposals that are acceptable as a basis for

negotiation of fair and reasonable prices.

L1:(2) A large business contractor is subject to estimating system disclosure,

maintenance, and review requirements if?

L1:(i) In its preceding fiscal year, the contractor received DoD prime

contracts or subcontracts totaling \$50 million or more for which certified cost or

pricing were required; or

L1:(ii) In its preceding fiscal year, the contractor received DoD prime

contracts or subcontracts totaling \$10 million or more (but less than \$50 million) for

which certified cost or pricing data were required and the contracting officer, with

concurrence or at the request of the ACO, determines it to be in the best interest of

the Government (e.g., significant estimating problems are believed to exist or the

contractor's sales are predominantly Government).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(c) Policy.

L1:(1) The contracting officer must?

L1:(i) Insert the cause at 252.215-7002, Cost Estimating System

Requirements, to apply the disclosure, maintenance, and review requirements to

large business contractors meeting the criteria in paragraph (b)(2)(i) of this section,

L1:(ii) Consider whether to apply the disclosure, maintenance, and review

requirements to large business contractors under paragraph (b)(2)(ii) of this section,

and

L1:(iii) Not apply the disclosure, maintenance, and review requirements to

other than large business contractors.

L1:(2) The cognizant contracting officer, in consultation with the auditor, for

contractors subject to paragraph (b)(2) of this section, must?

L1:(i) Determine the acceptability of the disclosure and approve or

disapprove the system, and

L1:(ii) Pursue correction of any weaknesses or deficiencies.

L1:(3) The auditor conducts estimating system reviews.

L1:(4) An acceptable system must provide for the use of appropriate source

data, utilize sound estimating techniques and good judgment, maintain a consistent

L0:approach, and adhere to established policies and procedures.

L1:(5) In evaluating the acceptability of a contractor's estimating system, the

L0:contracting officer, in consultation with the auditor, must determine whether the

L0:contractor's estimating system complies with the system criteria for an acceptable

L0:estimating system as prescribed in the clause at 252.215-7002, Cost Estimating

L0:System Requirements.

L1:(d) Disposition of findings?

L1:(1) Reporting of findings. The auditor must document findings and

L0:recommendations in a report to the contracting officer. If the auditor identifies any

L0:material weaknesses, the report must describe the underlying deficiencies in

L0:sufficient detail to ensure the contracting officer understands the weaknesses or

L0:deficiencies.

L1:(2) Initial determination.

L1:(i) Review all findings and recommendations and, if there are no

L0:material weaknesses, promptly notify the contractor, in writing, that the

L0:contractor's estimating system is acceptable and approved; or

L1:(ii) If there are one or more material weaknesses due to the contractor's

L0:failure to meet one or more of the estimating system criteria in the clause at

L0:252.215-7002, the contracting officer must?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(A) Promptly make an initial written determination on any material

L0:weaknesses and notify the contractor, in writing, providing a description of each

L0:material weakness in sufficient detail to allow the contractor to understand the

L0:deficiency (see PGI 215.305-70(d)(2));

L0:determination within 30 days; and

L1:(B) Require the contractor to respond, in writing, to the initial

L1:(C) Promptly evaluate the contractor's responses to the initial

L0:determination, in consultation with the auditor or functional specialist, and make a

L0:final determination.

L1:(3) Final determination.

L1:(i) Make a final determination and notify the contractor, in writing,

L0:that?

L0:and no material weaknesses remain; or

L1:(A) The contractor's estimating system is acceptable and approved,

L1:(B) Material weaknesses remain. Identify any remaining material

L0:weaknesses and indicate the adequacy of any proposed or completed corrective action.

L0:The contracting officer must?

L1:(1) Request that the contractor, within 45 days of receipt of the

L0:final determination, either correct the deficiencies or submit an acceptable

L0:corrective action plan showing milestones and actions to eliminate the weaknesses;

L0:252.215-7002; and

L1:(2) Disapprove the system in accordance with the clause at

L1:(3) Withhold payments in accordance with the clause at

L0:252.242-7005, Contractor Business Systems, if the clause is included in the

L0:contract.

L1:(ii) Follow the procedures relating to monitoring a contractor's corrective

L0:action and the correction of material weaknesses in PGI 215.305-70(d)(3).

L1:(e) System approval. Promptly approve a previously disapproved estimating

L0:system and notify the contractor there are no remaining material weaknesses.

L1:(f) Contracting officer notifications. Distribute copies of a determination to

L0:approve a system, disapprove a system and withhold payments, or approve a

L0:previously disapproved system and release withheld payments, to the auditor;

L0:payment office; affected contracting officers at the buying activities; and cognizant

L0:contracting officers in contract administration activities.

215.401 Definitions

Status: active

L0:215.401 Definitions.

L0:As used in this subpart?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:?"Market prices?" means current prices that are established in the course of ordinary

L0:trade between buyers and sellers free to bargain and that can be substantiated

L0:through competition or from sources independent of the offerors.

L0:?"Relevant sales data?" means information on sales of the same or similar items that

L0:can be used to establish price reasonableness taking into consideration the age,

L0:volume, and nature of the transactions (including any related discounts, refunds,

L0:rebates, offsets or other adjustments).

215.402-70 General

Status: active

L0:215.402-70 General.

L0:Requirement for cost or pricing data.

L1:(a) Pursuant to section 831 of the National Defense Authorization Act

L1:(NDAA) for Fiscal Year (FY) 2013 (Pub. L. 112-239)?

L1:(1) The contracting officer is responsible for determining if the

L0:information provided by the offeror is sufficient to determine price reasonableness.

L0:This responsibility includes determining whether information on the prices at which

L0:the same or similar items have previously been sold is adequate for evaluating the

L0:reasonableness of price, and determining the extent of uncertified cost data that

L0:should be required in cases in which price information is not adequate,

L1:(2) Do not limit the Government?s ability to obtain information that may

L0:be necessary to support a determination of fair and reasonable pricing by agreeing

L0:to contract terms that preclude obtaining necessary supporting information, and

L1:(3) When obtaining uncertified cost data, require the offeror to provide

L0:the information in the form in which it is regularly maintained in the offeror?s

L0:business operations.

L1:(b) Follow the procedures at PGI 215.402-70(b) when conducting cost or

L0:price analysis, particularly for sole source acquisitions of commercial products or

L0:commercial services.

215.403 Obtaining cost or pricing data

Status: active

L0:215.403 Obtaining cost or pricing data.

215.403-1 Data other than certified cost or pricing data

Status: active

L0:215.403-1 Data other than certified cost or pricing data.

L2:(b)(1) Follow the procedures at PGI 215.403-1(b)(1) for clarification of terms used in

L0:this subpart.

215.403-170 Contracting officer responsibilities

Status: active

L0:215.403-170 Contracting officer responsibilities.

L1:(a) Do not determine the price of a contract or subcontract to be fair and

L0:reasonable based solely on historical prices paid by the Government (10 U.S.C.

L0:3705(a)). See 215.404-170 and PGI 215.403-170(a).

L1:(b) If an offeror does not respond to a request for other than certified cost or

L0:pricing data, follow the procedures at PGI 215.403-170(b). In lieu of the factors for

L0:consideration listed in FAR 15.403-1(d), the head of the contracting activity must

L0:make a determination that it is in the best interest of the Government to make the

L0:award to an offeror that does not make a good faith effort to comply with a

L0:reasonable request to submit data other than certified cost or pricing data based on

L0:consideration of pertinent factors, including the following (10 U.S.C. 3705(b)):

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(1) The effort to obtain the data.

L1:(2) Availability of other sources of supply of the item or service.

L1:(3) The urgency or criticality of the Government's need for the item or

L0:service.

L1:(4) Reasonableness of the price of the contract, subcontract, or

L0:modification of the contract or subcontract based on information available to the

L0:contracting officer.

L1:(5) Rationale or justification made by the offeror for not providing the

L0:requested data.

L1:(6) Risk to the Government if award is not made.

L1:(c) For determinations of price reasonableness of major weapon systems
L0:acquired as commercial products, see 234.7002(e).

215.403-270 applies. The threshold is \$2.5 million when the prime contract is

Status: active

L0:215.403-270 applies. The threshold is \$2.5 million when the prime contract is
L0:awarded on or before June 30, 2026, unless otherwise stated in the contract (10

L0:U.S.C. 3702)

L1:(1) Use the same criteria for contract modifications or changes as the prime
L0:contract being modified or changed.

L1:(2) Require an offeror for a subcontract at any tier to submit certified cost or
L0:pricing data before the award of the subcontract if the prime contractor and each
L0:higher tier subcontractor are required to submit certified cost or pricing data, and
L0:the prime contract was entered into?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(i) After June 30, 2026, and the price of the subcontract is expected to
L0:exceed \$10 million, or

L1:(ii) On or before June 30, 2026, and the price of the subcontract is
L0:expected to exceed \$2.5 million, unless otherwise stated in the prime contract.

L1:(3) Require the subcontractor for a subcontract covered by paragraph (2) of
L0:this section to submit certified cost or pricing data before the pricing of a change or
L0:modification to the subcontract if the price adjustment is expected to exceed \$2.5
L0:million.

215.403-3 Certified cost or pricing data

Status: active

L0:215.403-3 Certified cost or pricing data.

L1:(a) Threshold. In lieu of the requirements of FAR 15.403-3(a), obtain certified
L0:cost or pricing data when a prime contract is expected to exceed \$10 million and is
L0:awarded after June 30, 2026, unless an exception at FAR 15.403-2 or DFARS

215.403-4 Certificate of current cost or pricing data

Status: active

L0:215.403-4 Certificate of current cost or pricing data.

L0:See PGI 215.403-4 for additional information and guidance on Certificates of
L0:Current Cost or Pricing Data.

215.404 Cost and/or price analysis

L0:215.404 Cost and/or price analysis.

215.404-170 Price analysis

Status: active

L0:215.404-170 Price analysis

L1:(a) In the absence of adequate price competition in response to the solicitation,

L0:pricing based on market prices is the preferred method to establish a fair and

L0:reasonable price (see PGI 215.404-170).

L1:(b) If the information obtained through market research is insufficient to

L0:determine the reasonableness of price, the contracting officer must consider

L0:information submitted by the offeror of recent purchase prices paid by the

L0:Government and commercial customers for the same or similar commercial products

L0:or commercial services under comparable terms and conditions. When establishing

L0:price reasonableness for the subsequent purchase, determine if the prices

L0:previously paid remain a valid reference for comparison. Do not base price

L0:reasonableness solely on historical prices paid by the Government (see PGI 215.403-

L0:170(a)). Consider the totality of other relevant factors such as the time elapsed

L0:since the prior purchase, any differences in the quantities purchased, or applicable

L0:terms and conditions (10 U.S.C. 3703(e)).

L1:(c) If the offeror cannot provide sufficient information as described in paragraph

L1:(b) of this section to determine the reasonableness of price, request the offeror

L0:submit information on?

L1:(1) Prices paid for the same or similar items sold under different terms and

L0:conditions;

L1:(2) Prices paid for similar levels of work or effort on related products or

L0:services;

L1:(3) Prices paid for alternative solutions or approaches; and

L1:(4) Other relevant information that can serve as the basis for determining

L0:the reasonableness of price.

L1:(d) If the pricing information submitted is not sufficient to determine the

L0:reasonableness of price, request other relevant information, to include cost data.

L0:However, no cost data may be required in any case in which there are sufficient

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:non-Government sales of the same item to establish reasonableness of price (section

L0:831 of the NDAA for FY 2013 (Pub. L. 112-239).

L1:(e) When evaluating pricing data, consider materially differing terms and

L0:conditions, quantities, and market and economic factors (see PGI 215.404-170(e)).

L0:For similar items, consider material differences between the similar item and the

L0:item being procured (see FAR 15.404-1(b)(2)(ii)). Material differences are those that

L0:could reasonably be expected to influence the determination of price reasonableness.

L0:Consider the following factors when evaluating the relevance of the information

L0:available:

L1:(1) Market prices.

L1:(2) Age of data.

L1:(i) Whether data is too old to be relevant depends on the industry (e.g., L0:rapidly evolving technologies), product maturity (e.g., stable), economic factors (e.g., L0:new sellers in the marketplace), and various other considerations.

L1:(ii) A pending sale may be relevant if, in the judgement of the L0:contracting officer, it is probable at the anticipated price, and the sale could L0:reasonably be expected to materially influence the contracting officer's L0:determination of price reasonableness. The contracting officer may consult with the L0:cognizant administrative contracting officers (ACOs) as they may have information L0:about pending sales.

L1:(3) Volume and completeness of transaction data. Data must include a L0:sufficient number of transactions to represent the range of relevant sales to all L0:types of customers. The data must also include key information, such as date, L0:quantity sold, part number, part nomenclature, sales price, and customer. If the L0:number of transactions is insufficient or the data is incomplete, request additional L0:sales data to evaluate price reasonableness. If the contractor cannot provide L0:sufficient sales data, request other relevant information.

L1:(4) Nature of transactions. The nature of a sales transaction includes the L0:information necessary to understand the transaction, such as terms and conditions, L0:date, quantity sold, sale price, unique requirements, the type of customer L0:(government, distributor, retail end-user, etc.), and related agreements. It also L0:includes warranties, key product technical specifications, maintenance agreements, L0:and preferred customer rewards.

L1:(f) Consider catalog prices to be reliable when they are regularly maintained L0:and supported by relevant sales data (including any related discounts, refunds, L0:rebates, offsets, or other adjustments). Request that the offeror support differences L0:between the proposed price(s), catalog price(s), and relevant sales data.

L1:(g) See PGI 215.404-170(g) for assistance with commercial product, commercial L0:service, and price reasonableness determinations.

L1:(h) When procuring a service or an end product identified by a material L0:identifier that is available (see PGI 204.7603), consider the Supplier Performance L0:Risk System price risk assessments in determining if a proposed price is consistent L0:with historical prices paid for an item or otherwise creates a risk to the L0:Government. See also 215.403-170(a).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

215.404-2 Cost analysis

Status: active

L0:215.404-2 Cost analysis

L0:Follow the procedures at PGI 215.404-2 when conducting a cost analysis.

215.404-4 and 215.406*Status: active*

L0:215.404-4 and 215.406.

L0:PGI 215.404-4 Technical cost or price analysis.

L0:Technical review can assist in evaluating the changes that are required to get from the

L0:?similar to? item to the item being solicited. This may establish sufficient price/cost analysis

L0:techniques to determine the price for the item being solicited is fair and reasonable.

L0:Information about how to obtain advisory assistance from the DoD cadre of experts in the

L0:DCMA CIG is available via email at dcma.boston-ma.eastern-rc.mbx.Commercial@mail.mil

L0:or at <http://www.dcmamail.com/commercial-item-group/>.

L0:PGI 215.404-7 Review and justification of pass-through contracts.

L1:(a) This requirement applies to acquisitions that include the clause at FAR 52.215-23,

L0:Limitations on Pass-Through Charges, as prescribed at FAR 15.110(v)(2)(i). When

L0:considering alternative approaches or making the determination that the contracting

L0:approach selected is in the best interest of the Government as required by FAR 15.404-7,

L0:consider the following elements?

L1:(1) The requirement, proposed prime contractor, and overall proposed contract

L0:value.

L1:(2) The information provided in response to the provision at FAR 52.215-22,

L0:Limitations on Pass-Through Charges?Identification of Subcontract Effort, regarding the

L0:subcontracts, and the estimated value of the proposed subcontracts.

L1:(3) The availability of alternative existing contracts that would allow direct access to

L0:the subcontractor, such as existing indefinite delivery/indefinite quantity contracts, Federal

L0:Supply Schedule contracts, or Governmentwide agency contracts. Perform market

L0:research as appropriate.

L1:(4) Potential cost savings of directly contracting with the subcontractor.

L1:(5) Feasibility of competition for the subcontracted effort or justification for single

L0:source procurement.

L1:(6) Potential impacts to the contracting and program schedule for implementing a

L0:direct contract with the subcontractors or conducting a competition for the subcontracted

L0:effort.

L1:(7) Changes in performance risk as result of eliminating prime contractor oversight

L0:and substituting direct government oversight. Risks may include loss of prime contractor

L0:knowledge of integration and program requirements, availability of government contracting

L0:and contract administration personnel, reduced system or program accountability of the

L0:prime contractor who is no longer responsible for the entire effort, impact on warranties.

L1:(8) Subcontractor past performance and experience directly managing programs of

L0:this size.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(b) DoD components must include reviews of compliance in routine procurement

L0:management reviews or other inspections.

L0:PGI 215.404-8 Subcontract pricing considerations.

L1:(a) Consider the need for field pricing analysis and evaluation of lower-tier subcontractor

L0:proposals, and assistance to prime contractors when they are being denied access to lower-tier subcontractor records.

L1:(1) When obtaining field pricing assistance on a prime contractor's proposal, the

L0:contracting officer should request audit or field pricing assistance to analyze and evaluate

L0:the proposal of a subcontractor at any tier (notwithstanding availability of data or analyses

L0:performed by the prime contractor) if the contracting officer believes that such assistance is

L0:necessary to ensure the reasonableness of the total proposed price. Such assistance may

L0:be appropriate when, for example?

L1:(i) There is a business relationship between the contractor and the

L0:subcontractor not conducive to independence and objectivity;

L1:(ii) The contractor is a sole source supplier and the subcontract costs represent

L0:a substantial part of the contract cost;

L1:(iii) The contractor has been denied access to the subcontractor's records;

L1:(iv) The contracting officer determines that, because of factors such as the size

L0:of the proposed subcontract price, audit or field pricing assistance for a subcontract at any

L0:tier is critical to a fully detailed analysis of the prime contractor's proposal;

L1:(v) The contractor or higher-tier subcontractor has been cited for having

L0:significant estimating system deficiencies in the area of subcontract pricing, especially the

L0:failure to perform adequate cost analyses of proposed subcontract costs or to perform

L0:subcontract analyses prior to negotiation of the prime contract with the Government; or

L1:(vi) A lower-tier subcontractor has been cited as having significant estimating

L0:system deficiencies.

L1:(2) It may be appropriate for the contracting officer or the ACO to provide assistance

L0:to a contractor or subcontractor at any tier, when the contractor or higher-tier subcontractor

L0:has been denied access to a subcontractor's records in carrying out the responsibilities at

L0:FAR 15.404-8 to conduct price or cost analysis to determine the reasonableness of

L0:proposed subcontract prices. Under these circumstances, the contracting officer or the ACO

L0:should consider whether providing audit or field pricing assistance will serve a valid

L0:Government interest.

L1:(3) When DoD performs the subcontract analysis, DoD must furnish to the prime

L0:contractor or higher-tier subcontractor, with the consent of the subcontractor reviewed, a

L0:summary of the analysis performed in determining any unacceptable costs included in the

L0:subcontract proposal. If the subcontractor withholds consent, DoD shall furnish a range of

L0:unacceptable costs for each element in such a way as to prevent disclosure of

L0:subcontractor proprietary data.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(4) Price redeterminable or fixed-price incentive contracts may include subcontracts

L0:placed on the same basis. When the contracting officer wants to reprice the prime contract

L0:even though the contractor has not yet established final prices for the subcontracts, the

L0:contracting officer may negotiate a firm contract price?

L1:(i) If certified cost or pricing data on the subcontracts show the amounts to be

L0:reasonable and realistic; or

L1:(ii) If certified cost or pricing data on the subcontracts are too indefinite to

L0:determine whether the amounts are reasonable and realistic, but?

L1:(A) Circumstances require prompt negotiation; and

L0:modification of the prime contract:

L1:(B) A statement substantially as follows is included in the repricing

L0:As soon as the Contractor establishes firm prices for each

L0:subcontract listed below, the Contractor shall submit (in the

L0:format and with the level of detail specified by the Contracting

L0:Officer) to the Contracting Officer the subcontractor's cost

L0:incurred in performing the subcontract and the final

L0:subcontract price. The Contractor and the Contracting Officer

L0:shall negotiate an equitable adjustment in the total amount

L0:paid or to be paid under this contract to reflect the final

L0:subcontract price.

L1:(5) If the selection of the subcontractor is based on a trade-off among cost or price

L0:and other non-cost factors rather than lowest price, the analysis supporting subcontractor

L0:selection should include a discussion of the factors considered in the selection (also see

L0:FAR 15.103 and 15.104 and DFARS 215.104-70). If the contractor's analysis is not

L0:adequate, return it for correction of deficiencies.

L1:(6) Do not permit fees negotiated by contractors for cost-plus-fixed-fee subcontracts

L0:to exceed the statutory fee limitations in FAR 15.404-9(c)(4).

L0:PGI 215.404-970 DD Form 1547, Record of Weighted Guidelines Method Application.

L1:(a) The DD Form 1547?

L1:(1) Provides a vehicle for performing the analysis necessary to develop a profit

L0:objective, and

L1:(2) Provides a format for summarizing profit amounts subsequently negotiated as

L0:part of the contract price.

L2:(b)(1) Use and prepare a DD Form 1547 whenever a structured approach to profit

L0:analysis is required by DFARS 215.404-970 (see PGI 215.404-971, 215.404-972, and

215.404-7 Review and justification of pass-through contracts

Status: active

L0:215.404-7 Review and justification of pass-through contracts.

L0:Following the procedures at PGI 215.404-7 when considering alternative approaches or

L0:making the determination that the contracting approach selected is in the best

L0:interest of the Government (FAR 15.404-7).

215.404-8 Subcontract pricing considerations

Status: active

L0:215.404-8 Subcontract pricing considerations.

L0:Follow the procedures at PGI 215.404-8 when reviewing a subcontractor's proposal.

215.404-970 Profit

Status: active

L0:215.404-970 Profit.

L1:(a) Policy. Use a structured approach for developing a prenegotiation profit or

L0:fee objective on any negotiated contract action when certified cost or pricing data is

L0:obtained, except for cost-plus-award-fee contracts (see PGI 215.404-974, 216.402-4,

L0:and FAR 16.402-4) or contracts with Federally Funded Research and Development

L0:Centers (FFRDCs) (see PGI 215.404-975). See PGI 215.404-970 for use of DD Form

L0:1547, Record of Weighted Guidelines Method Application, whenever a structured

L0:approach to profit analysis is required. There are three structured approaches?

L1:(1) The weighted guidelines method,

L1:(2) The modified weighted guidelines method, and

L1:(3) An alternate structured approach.

L1:(b) Contracting officer responsibilities.

L1:(1) Do not perform a profit analysis when assessing cost realism in

L0:competitive acquisitions.

L1:(2) When using a structured approach, contracting officers?

L1:(i) Must use the weighted guidelines method (see PGI 215.404-971),

L0:except as provided in paragraphs (b)(2)(ii) and (b)(2)(iii) of this section.

L1:(ii) Must use the modified weighted guidelines method (see PGI 215.404-

L0:972) on contract actions with nonprofit organizations other than FFRDCs.

L1:(iii) May use an alternate structured approach (see PGI 215.404-973)

L0:when?

L1:(A) The contract action is?

L0:DFARS 215.403-3(a)),

L1:(1) At or below the certified cost or pricing data threshold (see

L1:(2) For architect-engineer or construction work,

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(3) Primarily for delivery of material from subcontractors, or

L1:(4) A termination settlement; or

L1:(B) The weighted guidelines method does not produce a reasonable

L0:overall profit objective, and the head of the contracting activity approves use of the

L0:alternate approach in writing.

L1:(iv) Must use the weighted guidelines method to establish a basic profit

L0:rate under a formula-type pricing agreement and may then use the basic rate on all

L0:actions under the agreement, provided that conditions affecting profit do not

L0:change.

L1:(v) Must document the profit analysis in the contract file.

L1:(3) Do not attempt to reach agreement on the applied weights or values for

L0:individual profit factors, but do encourage the contractor to?

L1:(i) Present the details of its proposed profit amounts in the weighted

L0:guidelines format or similar structured approach; and

L1:(ii) Use the weighted guidelines method in developing profit objectives

L0:for negotiated subcontracts.

L1:(4) Verify that relevant variables have not materially changed (e.g.,

L0:performance risk, interest rates, progress payment rates, distribution of facilities

L0:capital).

L1:(c) Profit-analysis factors. See PGI 215.404-971 through 215.404-973.

L1:(d) Statutory fee limitations. In lieu of the limitation at FAR 15.404-9(c)(4)(ii),

L0:see 236.202-371 for the Departments of the Army, Navy and Air Force architect-

L0:engineer services.

215.404-70 Cost and/or price analysis

Status: active

L0:215.404-70 Cost and/or price analysis.

L1:(a) Follow the procedures at PGI 215.404-70 for cost and/or price analysis.

L1:(b) For spare parts or support equipment, perform an analysis of?

L1:(1) Line items where the proposed price exceeds by 25 percent or more the

L0:lowest price the Government has paid within the most recent 12-month period

L0:based on reasonably available data (section 1215 of the NDAA for FY 1984 (Pub. L.

L0:98-94)),

L1:(2) Line items where a comparison of the item description and the proposed

L0:price indicates a potential for overpricing,

L1:(3) Significant high-dollar-value items. If there are no obvious high-dollar-

L0:value items, include an analysis of a random sample of items, and

L1:(4) A random sample of the remaining low-dollar value items. Sample size

L0:may be determined by subjective judgment, e.g., experience with the offeror and the

L0:reliability of its estimating and accounting systems.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

215.405 Special cost or pricing areas

Status: active

L0:215.405 Special cost or pricing areas.

215.405-2 Make-or-buy programs

Status: active

L0:215.405-2 Make-or-buy programs.

L0:See PGI 215.405-2 for factors to consider when evaluating make-or-buy plan

L0:submissions.

215.405-3 Forward pricing rate agreements

L0:215.405-3 Forward pricing rate agreements.

L2:(b)(1) Use forward pricing rate agreement (FPRA) rates when such rates are

L0:available, unless waived on a case-by-case basis by the head of the contracting

L0:activity.

L1:(2) Advise the ACO of each case waived.

L1:(3) Contact the ACO for questions on FPRAs or recommended rates.

215.405-470 Should-cost review

L0:215.405-470 Should-cost review.

L1:(a) General. See PGI 215.405-470 for guidance on determining whether to perform

L0:a program or overhead should-cost review.

L1:(b) Program should-cost review. Major weapon system should-cost program reviews

L0:must be conducted in a manner that is transparent, objective, and provides for the

L0:efficiency of the DoD systems acquisition process (section 837 of the NDAA for FY 2018

L0:(Pub. L. 115-91)).

L1:(1) Major weapon system should-cost reviews may include the following

L0:features?

L1:(i) A thorough review of each contributing element of the program cost and

L0:the justification for each cost.

L1:(ii) An analysis of non-value added overhead and unnecessary reporting

L0:requirements.

L1:(iii) Benchmarking against similar DoD programs, similar commercial

L0:programs (where appropriate), and other programs by the same contractor at the same

L0:facility.

L1:(iv) An analysis of supply chain management to encourage competition and

L0:incentive cost performance at lower tiers.

L1:(v) A review of how to restructure the program (Government and contractor)

L0:team in a streamlined manner, if necessary.

L1:(vi) Identification of opportunities to break out Government-furnished

L0:equipment versus prime contractor-furnished materials.

L1:(vii) Identification of items or services contracted through third parties that

L0:result in unnecessary pass-through costs.

L1:(viii) Evaluation of ability to use integrated developmental and operational

L0:testing and modeling and simulation to reduce overall costs.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(ix) Identification of alternative technology and materials to reduce

L0:developmental or lifecycle costs for a program.

L1:(x) Identification and prioritization of cost savings opportunities.

L1:(xi) Establishment of measurable targets and ongoing tracking systems.

L1:(2) The should-cost review must provide for sufficient analysis while

L0:minimizing the impact on program schedule by engaging stakeholders early, relying on
L0:information already available before requesting additional data, and establishing a
L0:team with the relevant expertise early.

L1:(3) The should cost review team must?

L1:(i) Be comprised of members, including third-party experts if necessary,
L0:with the training, skills, and experience in analysis of cost elements, production or
L0:sustainment processes, and technologies relevant to the program under review. The
L0:review team may include members from the Defense Contract Management Agency,
L0:the department or agency's cost analysis center, and appropriate functional
L0:organizations, as necessary.

L1:(ii) Establish a process for communicating and collaborating with the
L0:contractor throughout the should-cost review, including notification to the contractor
L0:regarding which elements of the contractor's operations will be reviewed and what
L0:information will be necessary to perform the review, as soon as practicable, both prior to
L0:and during the review.

L1:(iii) Prepare a report, which must ensure, to the maximum extent
L0:practicable, review of current, accurate, and complete data, and identify cost savings
L0:opportunities associated with specific engineering or business changes that can be
L0:quantified and tracked.

215.406 Data to support proposal analysis

Status: active

L0:215.406 Data to support proposal analysis.
L0:See PGI 215.406 for guidance on obtaining field pricing or audit assistance.

215.408 Documentation

Status: active

L0:215.408 Documentation.

215.408-1 Prenegotiation objectives

Status: active

L0:215.408-1 Prenegotiation objectives.
L0:Follow the procedures at PGI 215.408-1 for establishing prenegotiation objectives.

215.408-2 Documenting the negotiation

Status: active

L0:215.408-2 Documenting the negotiation.
L0:Follow the procedures at PGI 215.408-2 for documenting the negotiation.

215.470 Estimated data prices

Status: active

L0:215.470 Estimated data prices.

L1:(a) DoD requires estimated prices for data to evaluate the cost to the

L0:Government of data items in terms of their management, product, or engineering

L0:value.

L1:(b) When data are required to be delivered under a contract, include DD Form

L0:1423, Contract Data Requirements List, in the solicitation. See PGI 215.470(b) for

L0:guidance on the use of DD Form 1423.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(c) Do not include a requirement for data in a contract that the contractor has

L0:delivered or is obligated to deliver to the Government under another contract or

L0:subcontract, and that the successful offeror identifies any such data required by the

L0:solicitation. However, where duplicate data are desired, the contract price shall

L0:include the costs of duplication, but not of preparation, of such data.

215.502 General

Status: active

L0:215.502 General

L2:(d)(3) The guidance at FAR 15.502(d)(3) applies to commercial solutions

L0:openings.

215.503-1 Scope of proposals

Status: active

L0:215.503-1 Scope of proposals.

L0:The policy at FAR 15.503-1(a) applies to commercial solutions openings.

252.215-7000 Reserved

Status: active

L0:252.215-7000 Reserved.

252.215-7001 Reserved

Status: active

L0:252.215-7001 Reserved.

252.215-7002 Cost Estimating System Requirements

L0:252.215-7002 Cost Estimating System Requirements.

L0:As prescribed in 215.110-70(a), use the following clause:

L0:COST ESTIMATING SYSTEM REQUIREMENTS (JAN 2025)

L1:(a) Definitions.

L0:“Acceptable estimating system” means an estimating system that complies with

L0:the system criteria in paragraph (d) of this clause, and provides for a system that?

L1:(1) Is maintained, reliable, and consistently applied;

L1:(2) Produces verifiable, supportable, documented, and timely cost estimates

L0:that are an acceptable basis for negotiation of fair and reasonable prices;

L1:(3) Is consistent with and integrated with the Contractor’s related

L0:management systems; and

L1:(4) Is subject to applicable financial control systems.

L0:“Estimating system” means the Contractor’s policies, procedures, and practices

L0:for budgeting and planning controls, and generating estimates of costs and other

L0:data included in proposals submitted to customers in the expectation of receiving

L0:contract awards. Estimating system includes the Contractor’s?

L1:(1) Organizational structure;

L1:(2) Established lines of authority, duties, and responsibilities;

L1:(3) Internal controls and managerial reviews;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(4) Flow of work, coordination, and communication; and

L1:(5) Budgeting, planning, estimating methods, techniques, accumulation of

L0:historical costs, and other analyses used to generate cost estimates.

L0:“Material weakness” means a deficiency or combination of deficiencies in the

L0:internal control over information in contractor business systems, such that there is

L0:a reasonable possibility that a material misstatement of such information will not

L0:be prevented, or detected and corrected, on a timely basis. A reasonable possibility

L0:exists when the likelihood of an event occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (Section 806 of Pub. L. 116-283).

L1:(b) General. The Contractor shall establish, maintain, and comply with an

L0:acceptable estimating system.

L1:(c) Applicability. Paragraphs (d) and (e) of this clause apply if the Contractor is

L0:a large business and either?

L1:(1) In its fiscal year preceding award of this contract, received Department

L0:of Defense (DoD) prime contracts or subcontracts, totaling \$50 million or more for

L0:which certified cost or pricing data were required; or

L1:(2) In its fiscal year preceding award of this contract?

L1:(i) Received DoD prime contracts or subcontracts totaling \$10 million or

L0:more (but less than \$50 million) for which certified cost or pricing data were

L0:required; and

L1:(ii) Was notified, in writing, by the Contracting Officer that paragraphs

L1:(d) and (e) of this clause apply.

L1:(d) System requirements.

L1:(1) The Contractor shall disclose its estimating system to the
L0:Administrative Contracting Officer (ACO), in writing. If the Contractor wishes the
L0:Government to protect the data and information as privileged or confidential, the
L0:Contractor must mark the documents with the appropriate legends before
L0:submission.

L1:(2) An estimating system disclosure is acceptable when the Contractor has
L0:provided the ACO with documentation that?

L1:(i) Accurately describes those policies, procedures, and practices that the
L0:Contractor currently uses in preparing cost proposals; and

L1:(ii) Provides sufficient detail for the Government to reasonably make an
L0:informed judgment regarding the acceptability of the Contractor's estimating
L0:practices.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215

L1:(3) The Contractor shall?

L1:(i) Comply with its disclosed estimating system; and

L1:(ii) Disclose significant changes to the cost estimating system to the
L0:ACO on a timely basis.

L1:(4) The Contractor's estimating system shall provide for the use of
L0:appropriate source data, utilize sound estimating techniques and good judgment,
L0:maintain a consistent approach, and adhere to established policies and procedures.
L0:An acceptable estimating system shall accomplish the following functions:

L1:(i) Establish clear responsibility for preparation, review, and approval of
L0:cost estimates and budgets.

L1:(ii) Provide a written description of the organization and duties of the
L0:personnel responsible for preparing, reviewing, and approving cost estimates and
L0:budgets.

L1:(iii) Ensure that relevant personnel have sufficient training, experience,
L0:and guidance to perform estimating and budgeting tasks in accordance with the
L0:Contractor's established procedures.

L1:(iv) Identify and document the sources of data and the estimating
L0:methods and rationale used in developing cost estimates and budgets.

L1:(v) Provide for adequate supervision throughout the estimating and
L0:budgeting process.

L1:(vi) Provide for consistent application of estimating and budgeting
L0:techniques.

L1:(vii) Provide for detection and timely correction of errors.

L1:(viii) Protect against cost duplication and omissions.

L1:(ix) Provide for the use of historical experience, including historical
L0:vendor pricing data, where appropriate.

L1:(x) Require use of appropriate analytical methods.

L1:(xi) Integrate data and information available from other management
L0:systems.

L1:(xii) Require management review, including verification of compliance
L0:with the company's estimating and budgeting policies, procedures, and practices.
L1:(xiii) Provide for internal review of, and accountability for, the
L0:acceptability of the estimating system, including the budgetary data supporting
L0:indirect cost estimates and comparisons of projected results to actual results, and
L0:an analysis of any differences.
L1:(xiv) Provide procedures to update cost estimates and notify the
L0:Contracting Officer in a timely manner throughout the negotiation process.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215
L1:(xv) Provide procedures that ensure subcontract prices are reasonable
L0:based on a documented review and analysis provided with the prime proposal, when
L0:practicable.
L1:(xvi) Provide estimating and budgeting practices that consistently
L0:generate sound proposals that are compliant with the provisions of the solicitation
L0:and are adequate to serve as a basis to reach a fair and reasonable price.
L1:(xvii) Have an adequate system description, including policies,
L0:procedures, and estimating and budgeting practices, that comply with the Federal
L0:Acquisition Regulation and Defense Federal Acquisition Regulation Supplement.
L1:(e) Material weaknesses.
L1:(1) The Contracting Officer will provide an initial determination to the
L0:Contractor, in writing, of any material weaknesses. The initial determination will
L0:describe the underlying deficiency in sufficient detail to allow the Contractor to
L0:understand the weakness or deficiency.
L1:(2) The Contractor shall respond within 30 days to a written initial
L0:determination from the Contracting Officer that identifies material weaknesses in
L0:the Contractor's estimating system. If the Contractor disagrees with the initial
L0:determination, the Contractor shall state, in writing, its rationale for disagreeing.
L1:(3) The Contracting Officer will evaluate the Contractor's response and
L0:notify the Contractor, in writing, of the Contracting Officer's final determination
L0:concerning?
L1:(i) Remaining material weaknesses;
L1:(ii) The adequacy of any proposed or completed corrective action; and
L1:(iii) System disapproval, if the Contracting Officer determines that one
L0:or more material weaknesses remain.
L1:(f) If the Contractor receives the Contracting Officer's final determination of
L0:material weaknesses, the Contractor shall, within 45 days of receipt of the final
L0:determination, either correct the material weaknesses or submit an acceptable
L0:corrective action plan showing milestones and actions to eliminate the material
L0:weaknesses.
L1:(g) Withholding payments. If the Contracting Officer makes a final
L0:determination to disapprove the Contractor's estimating system, and the contract
L0:includes the clause at 252.242-7005, Contractor Business Systems, the Contracting
L0:Officer will withhold payments in accordance with that clause.
L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215

252.215-7990 Requirement for Submission of Data Other Than Certified

Status: active

L0:252.215-7990 Requirement for Submission of Data Other Than Certified

L0:Cost or Pricing Data?Canadian Commercial Corporation. (DEVIATION

L0:2026-00048)

L0:As prescribed at 215.110-70(b)(1)(i), use the following provision:

L0:REQUIREMENT FOR SUBMISSION OF DATA OTHER THAN CERTIFIED COST

L0:OR PRICING DATA?CANADIAN COMMERCIAL CORPORATION (DEVIATION

L0:2026-00048) (MAR 2026)

L1:(a) Submission of certified cost or pricing data is not required.

L1:(b) Canadian Commercial Corporation shall obtain and provide the following:

L1:(i) Profit rate or fee (as applicable).

L1:(ii) Analysis provided by Public Works and Government Services Canada to

L0:the Canadian Commercial Corporation to determine a fair and reasonable price

L0:(comparable to the analysis required at FAR 15.404).

L1:(iii) Data other than certified cost or pricing data necessary to permit a

L0:determination by the U.S. Contracting Officer that the proposed price is fair and

L0:reasonable [U.S. Contracting Officer to insert description of the data required in

L0:accordance with FAR 15.403-1].

L1:(c) As specified in 15.403-1(d), an offeror who does not comply with a

L0:requirement to submit data that the U.S. Contracting Officer has deemed necessary

L0:to determine price reasonableness or cost realism is ineligible for award unless the

L0:head of the contracting activity determines that it is in the best interest of the

L0:Government to make the award to that offeror.

L0:(End of provision)

252.215-7005 Reserved

Status: active

L0:252.215-7005 Reserved.

L0:(End of clause)

252.215-7006 Use of Employees or Individual Subcontractors Who Are

Status: active

L0:252.215-7006 Use of Employees or Individual Subcontractors Who Are

L0:Members of the Selected Reserve.

L0:As prescribed in 215.104-71(c), use the following clause:

L0:USE OF EMPLOYEES OR INDIVIDUAL SUBCONTRACTORS WHO ARE

L0:MEMBERS OF THE SELECTED RESERVE (MAR 2022)

L1:(a) Definition. As used in this clause?

L0:Selected Reserve? has the meaning given that term in 10 U.S.C. 10143. Selected

L0:Reserve members normally attend regular drills throughout the year and are the

L0:group of Reserves most readily available to the President.

L1:(b) If the Contractor stated in its offer that it intends to use members of the

L0:Selected Reserve in the performance of this contract?

L1:(1) The Contractor shall use employees, or individual subcontractors, who

L0:are members of the Selected Reserve in the performance of the contract to the

L0:fullest extent consistent with efficient contract performance; and

L1:(2) The Government has the right to terminate the contract for default if the

L0:Contractor willfully or intentionally fails to use members of the Selected Reserve, as

L0:employees or individual subcontractors, in the performance of the contract.

L0:(End of clause)

252.215-7007 Notice of Intent to Resolicit

Status: active

L0:252.215-7007 Notice of Intent to Resolicit.

L0:As prescribed at 215.202-71(f), use the following provision:

L0:NOTICE OF INTENT TO RESOLICIT (JUN 2012)

L0:This solicitation provides offerors fewer than 30 days to submit proposals. In the

L0:event that only one offer is received in response to this solicitation, the Contracting

L0:Officer may cancel the solicitation and resolicit for an additional period of at least

L0:30 days in accordance with 215.202-71(b).

L0:(End of provision)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

252.215-7992 Only One Offer. (DEVIATION 2026-O0048)

Status: active

L0:252.215-7992 Only One Offer. (DEVIATION 2026-O0048)

L0:As prescribed at 215.110-70(c), use the following provision:

L0:ONLY ONE OFFER (DEVIATION 2026-O0048) (MAR 2026)

L1:(a) Cost or pricing data requirements. After initial submission of offers, if the

L0:Contracting Officer notifies the Offeror that only one offer was received, the Offeror

L0:agrees to?

L1:(1) Submit any additional cost or pricing data that is required in order to

L0:determine whether the price is fair and reasonable (10 U.S.C. 3705) or to comply

L0:with the statutory requirement for certified cost or pricing data (10 U.S.C. 3702);

L0:and

L1:(2) Except as provided in paragraph (b) of this provision, if the acquisition

L0:exceeds the certified cost or pricing data threshold and an exception to the
L0:requirement for certified cost or pricing data at FAR 15.403-2(b)(2) through (5) does
L0:not apply, certify all cost or pricing data in accordance with paragraph (c) of DFARS
L0:provision 252.215-7994, Requirements for Certified Cost or Pricing Data and Data
L0:Other Than Certified Cost or Pricing Data, of this solicitation.

L1:(b) Canadian Commercial Corporation. If the Offeror is the Canadian
L0:Commercial Corporation, certified cost or pricing data are not required. If the
L0:Contracting Officer notifies the Canadian Commercial Corporation that additional
L0:data other than certified cost or pricing data are required in accordance with
L0:DFARS 225.870-4(c), the Canadian Commercial Corporation shall obtain and
L0:provide the following:

L1:(1) Profit rate or fee (as applicable).

L1:(2) Analysis provided by Public Works and Government Services Canada to
L0:the Canadian Commercial Corporation to determine a fair and reasonable price
L0:(comparable to the analysis required at 15.404).

L1:(3) Data other than certified cost or pricing data necessary to permit a
L0:determination by the U.S. Contracting Officer that the proposed price is fair and
L0:reasonable [U.S. Contracting Officer to provide description of the data required in
L0:accordance with FAR 15.403-1 with the notification].

L1:(4) As specified in FAR 15.403-1(d), an offeror who does not comply with a
L0:requirement to submit data that the U.S. Contracting Officer has deemed necessary
L0:to determine price reasonableness or cost realism is ineligible for award unless the
L0:head of the contracting activity determines that it is in the best interest of the
L0:Government to make the award to that offeror.

L1:(c) Subcontracts. Unless the Offeror is the Canadian Commercial Corporation,
L0:the Offeror shall insert the substance of this provision, including this paragraph (c),
L0:in all subcontracts exceeding the simplified acquisition threshold defined in FAR
L0:part 2.

L0:(End of provision)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

252.215-7993 Proposal Adequacy Checklist. (DEVIATION 2026-O0048)

Status: active

L0:252.215-7993 Proposal Adequacy Checklist. (DEVIATION 2026-O0048)

L0:As prescribed in 215.110-70(d), use the following provision:

L0:PROPOSAL ADEQUACY CHECKLIST (DEVIATION 2026-O0048) (MAR 2026)

L0:The offeror shall complete the following checklist, providing location of requested
L0:information, or an explanation of why the requested information is not provided. In
L0:preparation of the offeror's checklist, offerors may elect to have their prospective
L0:subcontractors use the same or similar checklist as appropriate.

L0:PROPOSAL ADEQUACY CHECKLIST

L0:REFERENCES

L0:SUBMISSION

L0:ITEM

L0:PROPOSAL

L0:PAGE No.

L0:If not provided

L0:EXPLAIN (may

L0:use continuation

L0:pages)

L0:GENERAL INSTRUCTIONS

L0:1. FAR 15.408-2,

L0:Table 15-1,

L0:Section I

L0:Paragraph A

L0:Is there a properly completed

L0:first page of the proposal per

L0:FAR 15.408-2 Table 15-1 I.A

L0:or as specified in the

L0:solicitation?

L0:2. FAR 15.408-2,

L0:Table 15-1,

L0:Section I

L0:Paragraph A(7)

L0:3. FAR 15.408-2,

L0:Table 15-1,

L0:Section I

L0:Paragraph A(8)

L0:Does the proposal identify the

L0:need for Government-

L0:furnished

L0:material/tooling/test

L0:equipment? Include the

L0:accountable contract number

L0:and contracting officer contact

L0:information if known.

L0:Does the proposal identify

L0:and explain notifications of

L0:noncompliance with Cost

L0:Accounting Standards Board

L0:or Cost Accounting Standards

L1:(CAS); any proposal

L0:inconsistencies with your

L0:disclosed practices or

L0:applicable CAS; and

L0:inconsistencies with your

L0:established estimating and
L0:accounting principles and
L0:procedures?

L0:4. FAR 15.408-2,

L0:Table 15-1,
L0:Section I,
L0:Paragraph C(1)
L0:FAR 2.101, ?Cost
L0:or pricing data?
L0:Does the proposal disclose
L0:any other known activity that
L0:could materially impact the
L0:costs?
L0:This may include, but is not
L0:limited to, such factors as?

L1:(1) Vendor quotations;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:REFERENCES

L0:SUBMISSION

L0:ITEM

L0:PROPOSAL

L0:PAGE No.
L0:If not provided
L0:EXPLAIN (may
L0:use continuation
L0:pages)
L1:(2) Nonrecurring costs;
L1:(3) Information on changes in
L0:production methods and in
L0:production or purchasing
L0:volume;
L1:(4) Data supporting
L0:projections of business
L0:prospects and objectives and
L0:related operations costs;
L1:(5) Unit-cost trends such as
L0:those associated with labor
L0:efficiency;
L1:(6) Make-or-buy decisions;
L1:(7) Estimated resources to
L0:attain business goals; and
L1:(8) Information on
L0:management decisions that

L0:could have a significant
L0:bearing on costs.
L0:Is an Index of all certified cost
L0:or pricing data and
L0:information accompanying or
L0:identified in the proposal
L0:provided and appropriately
L0:referenced?
L0:Are there any exceptions to
L0:submission of certified cost or
L0:pricing data pursuant to FAR
L0:15.403-2(b)? If so, is
L0:supporting documentation
L0:included in the proposal?
L0:(Note questions 18-20.)
L0:Does the proposal disclose the
L0:judgmental factors applied
L0:and the mathematical or
L0:other methods used in the
L0:estimate, including those
L0:used in projecting from
L0:known data?
L0:Does the proposal disclose the
L0:nature and amount of any
L0:contingencies included in the
L0:proposed price?

L0:5. FAR 15.408-2,

L0:Table 15-1,
L0:Section I
L0:Paragraph B

L0:6. FAR 15.403-

L0:2(b)

L0:7. FAR 15.408-2,

L0:Table 15-1,
L0:Section I
L0:Paragraph
L0:C(2)(i)

L0:8. FAR 15.408-2,

L0:Table 15-1,
L0:Section I
L0:Paragraph
L0:C(2)(ii)

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L0:use continuation

L0:pages)

L0:9. FAR 15.408-2,

L0:Table 15-1,

L0:Section II,

L0:Paragraph A or

L0:B

L0:Does the proposal explain the

L0:basis of all cost estimating

L0:relationships (labor hours or

L0:material) proposed on other

L0:than a discrete basis?

L0:10. FAR 15.408-

L0:2, Table 15-1,

L0:Section I

L0:Paragraphs D

L0:and E

L0:11. FAR 15.408-

L0:2, Table 15-1,

L0:Section I

L0:Paragraphs D

L0:and E

L0:Is there a summary of total

L0:cost by element of cost and

L0:are the elements of cost cross-

L0:referenced to the supporting

L0:cost or pricing data?

L0:(Breakdowns for each cost

L0:element must be consistent

L0:with your cost accounting

L0:system, including breakdown

L0:by year.)

L0:If more than one Contract

L0:Line Item Number (CLIN) or

L0:sub Contract Line Item

L0:Number (sub-CLIN) is

L0:proposed as required by the

L0:RFP, are there summary total
L0:amounts covering all line
L0:items for each element of cost
L0:and is it cross-referenced to
L0:the supporting cost or pricing
L0:data?

L0:12. FAR 15.408-

L0:2, Table 15-1,
L0:Section I
L0:Paragraph F
L0:Does the proposal identify
L0:any incurred costs for work
L0:performed before the
L0:submission of the proposal?

L0:13. FAR 15.408-

L0:2, Table 15-1,
L0:Section I
L0:Paragraph G
L0:Is there a Government
L0:forward pricing rate
L0:agreement (FPRA)? If so, the
L0:offeror shall identify the
L0:official submittal of such rate
L0:and factor data. If not, does
L0:the proposal include all rates
L0:and factors by year that are
L0:utilized in the development of
L0:the proposal and the basis for
L0:those rates and factors?

L0:COST ELEMENTS

L0:MATERIALS AND SERVICES

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L0:EXPLAIN (may
L0:use continuation
L0:pages)

L0:14. FAR 15.408-

L0:2, Table 15-1,

L0:Section II

L0:Paragraph A

L0:Does the proposal include a

L0:consolidated summary of

L0:individual material and

L0:services, frequently referred

L0:to as a Consolidated Bill of

L0:Material (CBOM), to include

L0:the basis for pricing? The

L0:offeror?s consolidated

L0:summary shall include raw

L0:materials, parts, components,

L0:assemblies, subcontracts and

L0:services to be produced or

L0:performed by others,

L0:identifying as a minimum the

L0:item, source, quantity, and

L0:price.

L0:SUBCONTRACTS (Purchased materials or services)

L0:15. DFARS

L0:215.404-8

L0:16. FAR 15.404-

L0:8(b)

L0:FAR 52.244-2

L0:17. FAR 15.408-

L0:2, Table 15-1,

L0:Note 1;

L0:Section II

L0:Paragraph A

L0:Has the offeror identified in

L0:the proposal those

L0:subcontractor proposals, for

L0:which the contracting officer

L0:has initiated or may need to

L0:request field pricing analysis?

L0:Per the thresholds of FAR

L0:15.404-8(b), Subcontract

L0:Pricing Considerations, does

L0:the proposal include a copy of

L0:the applicable subcontractor?s

L0:certified cost or pricing data?

L0:Is there a price/cost analysis

L0:establishing the

L0:reasonableness of each of the

L0:proposed subcontracts
L0:included with the proposal?
L0:If the offeror's price/cost
L0:analyses are not provided
L0:with the proposal, does the
L0:proposal include a matrix
L0:identifying dates for receipt of
L0:subcontractor proposal,
L0:completion of fact finding for
L0:purposes of price/cost
L0:analysis, and submission of
L0:the price/cost analysis?

L0:EXCEPTIONS TO CERTIFIED COST OR PRICING DATA

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
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L0:EXPLAIN (may
L0:use continuation
L0:pages)

L0:18. FAR 52.215-

L0:20,

L0:FAR 2.101,

L0:?commercial
L0:product? or
L0:?commercial
L0:service?
L0:Has the offeror submitted an
L0:exception to the submission of
L0:certified cost or pricing data
L0:for commercial products or
L0:commercial services proposed
L0:either at the prime or
L0:subcontractor level, in
L0:accordance with provision

L0:52.215-20?

L0:a. Has the offeror
L0:specifically identified the type
L0:of commercial product or
L0:commercial service claim

L0:(FAR 2.101 ?commercial
L0:product? or ?commercial
L0:service? definition), and the
L0:basis on which the
L0:commercial product or
L0:commercial service meets the
L0:definition?
L0:b. For modified commercial
L0:products (FAR 2.101
L0: ?commercial product?
L0:definition); did the offeror
L0:classify the modification(s) as
L0:either?
L0:i. A modification of a type
L0:customarily available in the
L0:commercial marketplace
L0:(paragraph (3)(i)); or
L0:ii. A minor modification
L0:(paragraph (3)(ii)) of a type
L0:not customarily available in
L0:the commercial marketplace
L0:made to meet Federal
L0:Government requirements
L0:not exceeding the thresholds
L0:in FAR 15.403-2(c)(3)(iii)(B)?
L0:c. For proposed commercial
L0:products ?of a type?, or
L0: ?evolved? or modified (FAR
L0:2.101 ?commercial product?
L0:definition), did the contractor
L0:provide a technical
L0:description of the differences
L0:between the proposed item
L0:and the comparison item(s)?

L0:19.

L0:[Reserved]

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

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L0:If not provided

L0:EXPLAIN (may
L0:use continuation
L0:pages)

L0:20. FAR 15.408-

L0:2, Table 15-1,
L0:Section II
L0:Paragraph A(1)
L0:Does the proposal support the
L0:degree of competition and the
L0:basis for establishing the
L0:source and reasonableness of
L0:price for each subcontract or
L0:purchase order priced on a
L0:competitive basis exceeding
L0:the threshold for certified cost
L0:or pricing data?

L0:INTERORGANIZATIONAL TRANSFERS

L0:21. FAR 15.408-

L0:2, Table 15-1,
L0:Section II
L0:Paragraph A.(2)

L0:22. FAR 15.408-

L0:2, Table 15-1,
L0:Section II
L0:Paragraph A(1)

L0:23. FAR 15.408-

L0:2, Table 15-1,
L0:Section II
L0:Paragraph B

L0:24. FAR 15.408-

L0:2, Table 15-1,
L0:Section II
L0:Paragraph B
L0:For inter-organizational
L0:transfers proposed at cost,
L0:does the proposal include a
L0:complete cost proposal in
L0:compliance with Table 15-1?
L0:For inter-organizational
L0:transfers proposed at price in
L0:accordance with FAR 31.205-
L0:26(e), does the proposal
L0:provide an analysis by the
L0:prime that supports the

L0:exception from certified cost
L0:or pricing data in accordance
L0:with FAR15.403-2?

L0:DIRECT LABOR

L0:Does the proposal include a
L0:time phased (i.e.; monthly,
L0:quarterly) breakdown of labor
L0:hours, rates and costs by
L0:category or skill level? If
L0:labor is the allocation base for
L0:indirect costs, the labor cost
L0:must be summarized in order
L0:that the applicable overhead
L0:rate can be applied.

L0:For labor Basis of Estimates

L1:(BOEs), does the proposal
L0:include labor categories, labor
L0:hours, and task descriptions,
L0:(e.g.; Statement of Work
L0:reference, applicable CLIN,
L0:Work Breakdown Structure,
L0:rationale for estimate,
L0:applicable history, and time-
L0:phasing)?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

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L0:If not provided

L0:EXPLAIN (may

L0:use continuation

L0:pages)

L0:25. FAR subpart

L0:22.10

L0:26. FAR 15.408-

L0:2, Table 15-1,

L0:Section II

L0:Paragraph C

L0:27. FAR 15.408-

L0:2, Table 15-1,

L0:Section II

L0:Paragraph D

L0:If covered by the Service

L0:Contract Labor Standards

L0:statute (41 U.S.C. chapter

L0:67), are the rates in the

L0:proposal in compliance with

L0:the minimum rates specified

L0:in the statute?

L0:INDIRECT COSTS

L0:Does the proposal indicate the

L0:basis of estimate for proposed

L0:indirect costs and how they

L0:are applied? (Support for the

L0:indirect rates could consist of

L0:cost breakdowns, trends, and

L0:budgetary data.)

L0:OTHER COSTS

L0:Does the proposal include

L0:other direct costs and the

L0:basis for pricing? If travel is

L0:included does the proposal

L0:include number of trips,

L0:number of people, number of

L0:days per trip, locations, and

L0:rates (e.g. airfare, per diem,

L0:hotel, car rental, etc)?

L0:28. FAR 15.408-

L0:2, Table 15-1,

L0:Section II

L0:Paragraph E

L0:If royalties exceed \$1,500 does

L0:the proposal provide the

L0:information/data identified by

L0:Table 15-1?

L0:29. FAR 15.408-

L0:2, Table 15-1,

L0:Section II

L0:Paragraph F

L0:When facilities capital cost of

L0:money is proposed, does the

L0:proposal include submission

L0:of Form CASB-CMF or

L0:reference to an FPRA/FPRP

L0:and show the calculation of

L0:the proposed amount?

L0:FORMATS FOR SUBMISSION OF LINE ITEM SUMMARIES

L0:30. FAR 15.408-

L0:2, Table 15-1,

L0:Section III

L0:Are all cost element

L0:breakdowns provided using

L0:the applicable format

L0:prescribed in FAR 15.408-2,

L0:Table 15-1 III? (or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

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L0:If not provided

L0:EXPLAIN (may

L0:use continuation

L0:pages)

L0:31. FAR 15.408-

L0:2, Table 15-1,

L0:Section III

L0:Paragraph B

L0:alternative format if specified

L0:in the request for proposal)

L0:If the proposal is for a

L0:modification or change order,

L0:have cost of work deleted

L1:(credits) and cost of work

L0:added (debits) been provided

L0:in the format described in

L0:FAR 15.408-2, Table 15-

L0:1.III.B?

L0:32. FAR 15.408-

L0:2, Table 15-1,

L0:Section III

L0:Paragraph C

L0:For price

L0:revisions/redeterminations,

L0:does the proposal follow the

L0:format in FAR 15.408-2,

L0:Table 15-1.III.C?

L0:33. FAR 16.4

L0:OTHER

L0:If an incentive contract type,
L0:does the proposal include
L0:offeror proposed target cost,
L0:target profit or fee, share
L0:ratio, and, when applicable,
L0:minimum/maximum fee,
L0:ceiling price?

L0:34. FAR 16.203-

L0:4 and FAR
L0:15.408-2, Table
L0:15-1, Section II,
L0:Paragraphs A, B,
L0:C, and D
L0:If Economic Price
L0:Adjustments are being
L0:proposed, does the proposal
L0:show the rationale and
L0:application for the economic
L0:price adjustment?

L0:35. FAR 52.232-

L0:28

L0:36. FAR

L0:15.110(v)

L0:FAR 52.215-22

L0:FAR 52.215-23

L0:If the offeror is proposing
L0:Performance-Based Payments
L0:did the offeror comply with

L0:FAR 52.232-28?

L0:Excessive Pass-through
L0:Charges- Identification of
L0:Subcontract Effort: If the
L0:offeror intends to subcontract
L0:more than 70% of the total
L0:cost of work to be performed,
L0:does the proposal identify: (i)
L0:the amount of the offeror?s
L0:indirect costs and profit
L0:applicable to the work to be
L0:performed by the proposed
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
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L0:EXPLAIN (may

L0:use continuation

L0:pages)

L0:subcontractor(s); and (ii) a

L0:description of the added value

L0:provided by the offeror as

L0:related to the work to be

L0:performed by the proposed

L0:subcontractor(s)?

L0:(End of provision)

15.403-1 or DFARS 234.7002(e)]

Status: active

L0:15.403-1 or DFARS 234.7002(e)].

L1:(5) Within 10 days of a written request from the Contracting Officer for

L0:additional information to support proposal analysis, the Offeror shall provide either

L0:the requested information, or a written explanation for the inability to fully comply.

L1:(6) Subcontract price evaluation.

L1:(i) Offerors shall obtain from subcontractors the information necessary

L0:to support a determination of price reasonableness, as described in FAR part 15 and

L0:DFARS part 215.

L1:(ii) No cost information may be required from a prospective

L0:subcontractor in any case in which there are sufficient non-Government sales of the

L0:same item to establish reasonableness of price.

L1:(iii) If the Offeror relies on relevant sales data for similar items to

L0:determine the price is reasonable, the Offeror shall obtain only that technical

L0:information necessary?

L1:(A) To support the conclusion that items are technically similar; and

L0:between the proposed prices and the sales data presented.

L1:(B) To explain any technical differences that account for variances

L1:(e) Subcontracts. The Offeror shall insert the substance of this provision,

L0:including this paragraph (e), in all subcontracts exceeding the simplified acquisition

L0:threshold defined in FAR part 2. The Offeror shall require prospective

L0:subcontractors to adhere to the requirements of?

L1:(1) Paragraph (c) and (d) of this provision for subcontracts above the

L0:threshold for submission of certified cost or pricing data in 215.403-3(a); and

L1:(2) Paragraph (d) of this provision for subcontracts exceeding the simplified

L0:acquisition threshold defined in FAR part 2.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:(End of provision)

252.215-7011 Requirements for Submission of Proposals to the

Status: active

L0:252.215-7011 Requirements for Submission of Proposals to the

L0:Administrative Contracting Officer and Contract Auditor.

L0:As prescribed in 215.110-70(e)(2), use the following provision:

L0:REQUIREMENTS FOR SUBMISSION OF PROPOSALS TO THE

L0:ADMINISTRATIVE CONTRACTING OFFICER AND CONTRACT AUDITOR

L0:(JAN 2018)

L0:When the proposal is submitted, the Offeror shall also submit one copy each to?

L1:(a) The Administrative Contracting Officer; and

L1:(b) The Contract Auditor.

L0:(End of provision)

252.215-7012 Requirements for Submission of Proposals via Electronic

Status: active

L0:252.215-7012 Requirements for Submission of Proposals via Electronic

L0:Media.

L0:As prescribed in 215.110-70(e)(3), use the following provision:

L0:REQUIREMENTS FOR SUBMISSION OF PROPOSALS VIA ELECTRONIC

L0:MEDIA (JAN 2018)

L0:The Offeror shall submit the cost portion of the proposal via the following electronic

L0:media: [Insert media format, e.g., electronic spreadsheet format, electronic mail, etc.]

L0:(End of provision)

252.215-7013 Supplies and Services Provided by Nontraditional Defense

Status: active

L0:252.215-7013 Supplies and Services Provided by Nontraditional Defense

L0:Contractors.

L0:As prescribed in 215.110-70(f), use the following provision:

L0:SUPPLIES AND SERVICES PROVIDED BY NONTRADITIONAL DEFENSE

L0:CONTRACTORS (JAN 2023)

L0:Offerors are advised that in accordance with 10 U.S.C. 3457, supplies and services

L0:provided by a nontraditional defense contractor, as defined in DFARS 202.101, may

L0:be treated as commercial products or commercial services. The decision to apply

L0:commercial product or commercial service procedures to the procurement of
L0:supplies and services from a nontraditional defense contractor does not require a
L0:commercial product or commercial service determination and does not mean the
L0:supplies or services are commercial.
L0:(End of provision)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215

252.215-7014 Exception from Certified Cost or Pricing Data Requirements

Status: active

L0:252.215-7014 Exception from Certified Cost or Pricing Data Requirements
L0:for Foreign Military Sales Indirect Offsets.
L0:As prescribed in 215.110-70(g), use the following clause:

L0:EXCEPTION FROM CERTIFIED COST OR PRICING DATA REQUIREMENTS FOR L0:FOREIGN MILITARY SALES INDIRECT OFFSETS (DEC 2022)

L1:(a) Definition. As used in this clause?

L0:Offset? means a benefit or obligation agreed to by a contractor and a foreign
L0:government or international organization as an inducement or condition to purchase
L0:supplies or services pursuant to a foreign military sale (FMS). There are two types of
L0:offsets: direct offsets and indirect offsets.

L1:(1) A direct offset involves benefits or obligations, including supplies or services
L0:that are directly related to the item being purchased and are integral to the deliverable
L0:of the FMS contract. For example, as a condition of a foreign military sale, the
L0:contractor may require or agree to permit the customer to produce in its country certain
L0:components or subsystems of the item being sold. Generally, direct offsets must be
L0:performed within a specified period, because they are integral to the deliverable of the
L0:FMS contract.

L1:(2) An indirect offset involves benefits or obligations, including supplies or
L0:services that are not directly related to the specific item(s) being purchased and are not
L0:integral to the deliverable of the FMS contract. For example, as a condition of a foreign
L0:military sale, the contractor may agree to purchase certain manufactured products,
L0:agricultural commodities, raw materials, or services, or make an equity investment or
L0:grant of equipment required by the FMS customer, or may agree to build a school, road
L0:or other facility. Indirect offsets would also include projects that are related to the FMS
L0:contract but not purchased under said contract (e.g., a project to develop or advance a
L0:capability, technology transfer, or know-how in a foreign company). Indirect offsets
L0:may be accomplished without a clearly defined period of performance.

L1:(b) Exceptions from certified cost or pricing data requirements. Notwithstanding the
L0:requirements of Federal Acquisition Regulation (FAR) 52.215-20, Requirements for
L0:Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data, in
L0:the case of this contract or a subcontract, and FAR 52.215-21, Requirements for
L0:Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data?
L0:Modifications, in the case of modification of this contract or a subcontract, submission of

L0:certified cost or pricing data shall not be required to the extent such data relates to an
L0:indirect offset (10 U.S.C. 3703(a)(4)).
L0:(End of clause)

252.215-7995 Program Should-Cost Review. (DEVIATION 2026-O0048)

Status: active

L0:252.215-7995 Program Should-Cost Review. (DEVIATION 2026-O0048)

L0:As prescribed in 215.110-70(h), use the following clause:

L0:PROGRAM SHOULD-COST REVIEW (DEVIATION 2026-O0048) (MAR 2026)

L1:(a) The Government has the right to perform a program should-cost review, as

L0:described in Federal Acquisition Regulation (FAR) 15.405-4(b). The review may be

L0:conducted in support of a particular contract proposal or during contract

L0:performance to find opportunities to reduce program costs. The Government will

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:communicate the elements of the proposed should-cost review to the prime

L0:contractor (Pub. L. 115-91).

L1:(b) If the Government performs a program should-cost review, upon the

L0:Government?s request, the Contractor shall provide access to accurate and complete

L0:cost data and Contractor facilities and personnel necessary to permit the

L0:Government to perform the program should-cost review.

L1:(c) The Government has the right to use third-party experts to supplement the

L0:program should-cost review team. The Contractor shall provide access to the

L0:Contractor?s facilities and information necessary to support the program should-cost

L0:review to any third-party experts who have signed non-disclosure agreements in

L0:accordance with the FAR 52.203-16.

L0:(End of clause)

252.215-7996 Notification to Offerors?Postaward Debriefings

Status: active

L0:252.215-7996 Notification to Offerors?Postaward Debriefings.

L0:(DEVIATION 2026-O0048)

L0:As prescribed in 215.301-70, use the following provision:

L0:NOTIFICATION TO OFFERORS?POSTAWARD DEBRIEFINGS (DEVIATION

L0:2026-O0048) (MAR 2026)

L1:(a) Definition. As used in this provision?

L0:?Nontraditional defense contractor? means an entity that is not currently

L0:performing and has not performed any contract or subcontract for DoD that is

L0:subject to full coverage under the cost accounting standards prescribed pursuant to

L0:41 U.S.C. 1502 and the regulations implementing such section, for at least the 1-

L0:year period preceding the solicitation of sources by DoD for the procurement (10

L0:U.S.C. 3014).

L1:(b) Postaward debriefing.

L1:(1) Upon timely request, the Government will provide a written or oral

L0:postaward debriefing to successful or unsuccessful offerors for contract awards

L0:valued at \$15 million

L1:(2) When required, the minimum postaward debriefing information will

L0:include the following:

L1:(i) For contracts in excess of \$15 million and not in excess of \$150

L0:million with a small business or nontraditional defense contractor, an option for the

L0:small business or nontraditional defense contractor to request disclosure of the

L0:agency's written source selection decision document, redacted to protect the

L0:confidential and proprietary information of other offerors for the contract award.

L1:(ii) For contracts in excess of \$150 million, disclosure of the agency's

L0:written source selection decision document, redacted to protect the confidential and

L0:proprietary information of other offerors for the contract award.

L1:(3) If a required postaward debriefing is provided?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(i) The debriefed Offeror may submit additional written questions

L0:related to the debriefing not later than 2 business days after the date of the

L0:debriefing;

L1:(ii) The agency will respond in writing to timely submitted additional

L0:questions within 5 business days after receipt by the contracting officer; and

L1:(iii) The postaward debriefing will not be considered to be concluded

L0:until the later of?

L0:writing; or

L1:(A) The date that the postaward debriefing is delivered, orally or in

L0:timely received, the date the agency delivers its written response.

L1:(B) If additional written questions related to the debriefing are

L1:(c) Contract performance. The Government may suspend performance of or

L0:terminate the awarded contract upon notice from the Government Accountability

L0:Office of a protest filed within the time periods listed in paragraphs (c)(1) through

L1:(3) of this provision, whichever is later:

L1:(1) Within 10 days after the date of contract award.

L1:(2) Within 5 days after a debriefing date offered to the protestor under a

L0:timely debriefing request in accordance with Federal Acquisition Regulation (FAR)

15.301 unless an earlier debriefing date is negotiated as a result

Status: active

L0:15.301 unless an earlier debriefing date is negotiated as a result.

L1:(3) Within 5 days after a postaward debriefing under FAR 15.301 is

L0:concluded in accordance with Defense Federal Acquisition Regulation Supplement

L0:215.301-170.

L0:(End of provision)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:PGI 215?CONTRACTING BY NEGOTIATION

L0:PGI 215.1-PRESOLICITATION AND SOLICITATION

L0:PGI 215.103 Developing a competitive source selection approach

L0:PGI 215.103-270 Limitations and prohibitions.

L1:(a) Limitations.

L2:(1)(vi) Obtain guidance from the requiring activity when it is unclear whether a

L0:supply is ?predominately expendable in nature? or ?nontechnical,? or has a ?short life

L0:expectancy? or ?short shelf life.? In such situations, only use the lowest price technically

L0:acceptable source selection process if the requiring activity establishes that the goods to be

L0:procured are predominantly expendable in nature, are nontechnical, or have a short life

L0:expectancy or short shelf life.

L1:(vii) Document the contract file with a determination from the requiring activity

L0:that the lowest priced offer reflects full life-cycle costs for the supply or service. For services,

L0:full life-cycle costs are equal to the contract cost of the services.

L0:PGI 215.104 Establishing competitive evaluation factors and significant subfactors.

L0:PGI 215.104-70 Establishing competitive evaluation factors and significant

L0:subfactors.

L2:(a)(1) Evaluation factors may include?

L1:(i) The extent to which such firms are specifically identified in proposals,

L1:(ii) The extent of commitment to use such firms (for example, enforceable

L0:commitments are to be weighted more heavily than non-enforceable ones),

L1:(iii) The complexity and variety of the work small firms are to perform,

L1:(iv) The realism of the proposal,

L1:(v) Past performance of the offerors in complying with requirements of the

L0:clauses at FAR 52.219-8, Utilization of Small Business Concerns, and 52.219-9, Small

L0:Business Subcontracting Plan, and

L1:(vi) Participation of such firms in terms of the value of the total acquisition.

L1:(c) Using authority granted in section 806 of Pub. L. 111-383 to exclude a source

L0:based on supply chain risk requires an evaluation factor for supply chain risk, as specified at

L0:DFARS 240.271-6. Evaluating supply chain risk requires review of the supply chain,

L0:including all information technology subcontractors and suppliers that are proposed for use

L0:at any time in the performance of the contract and may involve the use of all-source

L0:intelligence information. The requiring activity is responsible for obtaining any necessary all-

L0:source intelligence information and must inform the contracting officer and source selection

L0:authority of the results of the review for use in evaluating offers.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:PGI 215.104-71 Evaluation factor for employing or subcontracting with members of

L0:the Selected Reserve.

L1:(b) Evaluation factor.

L1:(1) This evaluation factor may be used as an incentive to encourage contractors to

L0:use employees or individual subcontractors who are members of the Selected Reserve.

L1:(2) As with all evaluation factors and subfactors, the contracting officer should

L0:consider the impact the inclusion of this factor will have on the resulting contract and weight

L0:it accordingly.

L0:PGI 215.105 Other considerations.

L0:PGI 215.105-5 Make-or-buy decision.

L2:(c)(2) RFP requirements. Consider the following factors when deciding whether to

L0:request a make-or-buy plan?

L1:(i) The prime contractor's assumption of risk;

L1:(ii) The prime contractor's plant capacity;

L1:(iii) The prime contractor's degree of vertical integration;

L1:(iv) The prime contractor's internal resources;

L1:(v) The anticipated contract type;

L1:(vi) The complexity, uniqueness, or configuration maturity associated with the end

L0:item or its subsystems;

L1:(vii) Critical path items;

L1:(viii) The impact on contract overhead rates with respect to maintaining work in-

L0:house;

L1:(ix) The industrial base that could potentially satisfy some system requirements,

L0:based on market survey;

L1:(x) Proprietary data and/or trade secrets;

L1:(xi) Potential product quality concerns associated with items that would be subject

L0:to subcontracting;

L1:(xii) Integrated master schedule timelines and their tolerances for variation;

L1:(xiii) The availability and experience of program office personnel to credibly analyze

L0:and evaluate a submission; and

L1:(xiv) Socioeconomic considerations, e.g. small business or labor surplus area

L0:concerns.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:PGI 215.2?EVALUATION AND AWARD

L0:PGI 215.200 Scope.

L0:See the policy tab for Principal Director, Defense Pricing and Contracting memorandum

L0:dated August 20, 2022, entitled "Department of Defense Source Selection Procedures" that

L0:provides the procedures for conducting negotiated, competitive acquisitions utilizing FAR

L0:part 15 procedures.

L0:PGI 215.201 Source selection responsibilities.

L2:(b)(2) The source selection plan is ?

L1:(A) Prepared and maintained by a person designated by the source selection

L0:authority or as prescribed by agency procedures; and

L1:(B) Coordinated with the contracting officer and senior advisory group, if any,

L0:within the source selection organization.

L0:PGI 215.202-71 Only one offer.

L1:(b) Promote competition.

L1:(2) For competitive solicitations in which more than one potential offeror expressed

L0:an interest in an acquisition, but only one offer was ultimately received?

L1:(i) Seek feedback (e.g., issue an RFI) after award from potential offerors

L0:expected to submit an offer; and

L1:(ii) Document any feedback received in the contract file.

L1:(3) Agencies must use any feedback received when considering how to overcome

L0:barriers to competition for future requirements.

L0:PGI 215.3?POSTAWARD

L0:PGI 215.300 Scope.

L0:PGI 215.304-70 Voluntary disclosure of defective certified cost or pricing data after

L0:award.

L1:(a) Contact the Defense Contract Audit Agency (DCAA) to determine the appropriate

L0:level of audit assistance required for the circumstances (e.g., nature or dollar amount of the

L0:defective pricing disclosure): limited-scope audit (e.g., limited to the affected cost elements

L0:of the defective pricing disclosure), full-scope audit, or technical assistance. Discussion

L0:topics must include:

L1:(1) Completeness of the contractor's voluntary disclosure on the affected contract.

L1:(2) Accuracy of the contractor's cost impact calculation for the affected contract.

L1:(3) Potential impact on existing contracts, task or deliver orders, or other proposals

L0:the contractor has submitted to the Government.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(b) Voluntary disclosure of defective pricing is not a voluntary refund as defined in

242.7100 and does not waive the Government's entitlement to the recovery of any

Status: active

L0:242.7100 and does not waive the Government's entitlement to the recovery of any

L0:overpayment plus interest on the overpayments in accordance with FAR 15.304(a)(1).

L1:(c) Voluntary disclosure of defective pricing does not waive the Government's rights to

L0:pursue defective pricing claims on the affected contract or any other Government contract.

L0:PGI 215.305 Estimating systems.

L0:PGI 215.305-70 Disclosure, maintenance, and review requirements.

L1:(d) Disposition of findings.

L1:(2) Initial determination.

L2:(ii)(A) Within 30 days of receiving the report, provide an initial determination of

L0:material weaknesses and a copy of the report to the contractor.

L1:(C) Evaluation of contractor's response. Within 30 days of receiving the

L0:contractor's response to the initial determination, evaluate the contractor's response and

L0:make a final determination.

L1:(3) Final determination.

L2:(ii)(A) Monitoring contractor's corrective action. Monitor, with the auditor, the

L0:contractor's progress in correcting material weaknesses. If the contractor fails to make

L0:adequate progress, the contracting officer shall take whatever action is necessary to ensure

L0:that the contractor corrects the weaknesses and deficiencies, including withdrawing or

L0:withholding approval of the system; elevating the issue to the attention of higher level

L0:management; reducing or suspending progress payments (see FAR 32.503-6);

L0:recommending non-award of potential contracts, as applicable; and increasing the

L0:withholding in accordance with 252.242-7005, Contractor Business Systems.

L1:(B) Correction of material weaknesses.

L1:(1) The contractor is required to notify the contracting officer that it has

L0:corrected the material weaknesses. Upon receiving notification, request the auditor review

L0:the correction to determine if the material weaknesses have been resolved.

L0:weaknesses.

L1:(2) Make a determination if the contractor has corrected the material

L1:(3) If the contractor has corrected the material weaknesses, send the

L0:contracting officer's notification to the auditor; payment office; appropriate action officers

L0:responsible for reporting past performance at the requiring activities; and each contracting

L0:and contract administration office having substantial business with the contractor, as

L0:applicable.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:PGI 215.4?CONTRACT PRICING

L0:PGI 215.400 Scope of subpart.

L0:PGI 215.402 General.

L0:PGI 215.402-70 Contract pricing?General.

L2:(b)(1) Contracting officers must purchase supplies and services from responsible

L0:sources at fair and reasonable prices. The Truthful Cost and Pricing statutes (10 U.S.C.

L0:chapter 271 and 41 U.S.C. chapter 35) require offerors to submit certified cost or pricing

L0:data if a procurement exceeds the Truthful Cost and Pricing threshold, and none of the

L0:exceptions to certified cost or pricing data requirements applies. Under the Truthful Cost

L0:and Pricing statute, the contracting officer obtains accurate, complete, and current data from

L0:offerors to establish a fair and reasonable price (see FAR 15.403-3 and 215.403-3(a)). The

L0:Truthful Cost and Pricing statutes also allow for a price adjustment remedy if it is later found

L0:that a contractor did not provide accurate, complete, and current data.

L1:(2) When certified cost or pricing data are not required, and the contracting

L0:officer does not have sufficient data to determine price reasonableness, FAR 15.402(a)(2)

L0:requires the offeror to provide whatever data the contracting officer needs in order to

L0:determine fair and reasonable prices.

L1:(3) Obtaining sufficient data from the offeror is particularly critical in situations

L0:where a product or service is determined to be a commercial product or commercial service

L0:in accordance with FAR 2.101 and the contract is being awarded on a sole source basis.

L0:This includes commercial sales data of products or services sold in similar quantities and, if

L0:such data is insufficient, cost data to support the proposed price.

L1:(4) See PGI 215.404-70 and the Department of Defense Guidebook for

L0:Acquiring Commercial Items, Part B: Pricing Commercial Items, for more detailed

L0:procedures and guidance on obtaining data needed to determine fair and reasonable prices.

L0:PGI 215.403 Obtaining cost or pricing data.

L0:PGI 215.403-1 Data other than certified cost or pricing data.

L2:(b)(1)

L0:If certified cost or pricing data are not required by FAR 15.403-3 or 215.403-3(a)
L0:and there is no other means for the contracting officer to determine that prices are fair and
L0:reasonable, the offeror is required to submit ?data other than certified cost or pricing data?
L0:(see definition at FAR 2.101). In accordance with FAR 15.403-1(b), the offeror must provide
L0:appropriate data on the prices at which the same or similar items have previously been sold,
L0:adequate for determining the reasonableness of the price. The following clarifies the
L0:requirements of this section?

L1:(i) Data other than certified cost or pricing data. When certified cost or pricing
L0:data are not required, obtain whatever data is necessary in order to determine the
L0:reasonableness of the price. The FAR defines this as ?data other than certified cost or
L0:pricing data.? When TINA does not apply and there is no other means of determining that
L0:prices are fair and reasonable, obtain appropriate data on the prices at which the same or
L0:similar items have been sold previously, adequate for evaluating the reasonableness of the
L0:price. Sales data must be comparable to the quantities, capabilities, specifications, etc., of
L0:the product or service proposed. Sufficient steps must be taken to verify the integrity of the
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215
L0:sales data, to include assistance from the Defense Contract Management Agency, the
L0:Defense Contract Audit Agency, and/or other agencies if required. See PGI 215.404-70 for
L0:more detailed procedures for obtaining data from offerors to determine price
L0:reasonableness.

L1:(ii) Previously been sold. Request offerors provide data related to prior sales (or
L0:offered for sale?) in support of price reasonableness determinations.

L1:(iii) Adequacy of sales data for pricing. Determine if the prior sales data is
L0:sufficient for determining that prices are fair and reasonable. If the sales data is not
L0:sufficient, obtain additional data, including cost data if necessary. See PGI 215.404-70 for
L0:more detailed procedures for obtaining whatever data is needed to determine fair and
L0:reasonable prices.

L1:(c) Prepare a written request that clearly describes the required data, the reason the
L0:data is required to determine fair and reasonable pricing, and the due date for submission.
L0:Request data in the offeror?s existing format but require appropriate explanations if
L0:necessary to enable analysis (see FAR 15.105-4(b)(2)). When a request for proposal
L0:contains solicitation provision DFARS 252.215-7994, offerors are to respond to data
L0:requests within 10 days.
L0:PGI 215.403-170 Contracting officer responsibilities.

L1:(a) Analysis of historical prices paid by the Government.

L1:(i) Consider prices paid by the Government and commercial customers. Do not rely
L0:solely on a prior price paid by the Government without further analysis (see FAR 15.404-1).

L1:(A) Verify and document that sufficient analysis was performed on the prior
L0:price to determine that the prior price was fair and reasonable. Sometimes, due to urgent
L0:situations, supplies or services are purchased even though an adequate price or cost
L0:analysis could not be performed. The problem is exacerbated when other contracting
L0:officers assume these prices were adequately analyzed and determined to be fair and
L0:reasonable.

L1:(B) Investigate and document the following considerations:

L0:adjustments as necessary to ensure comparability with the current quantity requirement;

L1:(1) Verify that the quantities were similar for pricing purposes, making

L1:(2) Consider whether the historical purchases were recent enough to be

L0:relevant for the purpose of establishing price reasonableness of the current acquisition, and

L0:escalate or deflate the historical prices as appropriate to facilitate comparison to the current

L0:proposed price; and

L1:(3) Validate that the terms and conditions associated with the historical

L0:purchases were comparable to the current terms and conditions, or adjust the historical

L0:prices in a manner that accounts for the materially differing terms and conditions.

L1:(ii) Not verifying that a previous analysis was performed, or the consistencies in

L0:quantities, has been a recurring issue on sole source commercial products and commercial

L0:services reported by oversight organizations. Sole source commercial products and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:commercial services require extra attention to verify that previous prices paid on

L0:Government contracts were sufficiently analyzed and determined to be fair and reasonable.

L1:(iii) At a minimum, review price history and discuss the basis of previous prices paid

L0:with the contracting organization that previously bought the item. Document the discussions

L0:in the contract file.

L1:(b) Refusals to submit data.

L1:(i) When additional data is required to determine price reasonableness and the

L0:offeror does not respond to data requests (see PGI 215.403-1(c)), use the following

L0:sequence of steps?

L1:(A) If the offeror does not submit the requested data on time, document any

L0:missed deadlines in the contract file. If the offeror does not respond or refuses to provide

L0:the requested data, elevate the issue within the contracting activity.

L0:engage the offeror's leadership for resolution.

L1:(B) The contracting activity, with support from the contracting officer, may

L1:(C) If the offeror continues to refuse to provide the data, the contracting

L0:activity will elevate the issue to the head of the contracting activity for a determination in

L0:accordance with DFARS 215.403-170(b).

L1:(D) Document the contract file to describe?

L1:(1) The data requested and the need for that data;

L0:from this particular source; and

L1:(2) Why there is currently no other alternative but to procure the item

L0:second source by...; bring the procurement in house to the Government by...).

L1:(3) A written plan for avoiding this situation in the future (e.g., develop a

L1:(E) Consistent with the requirements at FAR 15.104 and 42.1102 and the

L0:Contractor Performance Assessment Reporting System (CPARS), unless exempted by the

L0:HCA, provide input into the past performance system, noting the offeror's refusal to provide

L0:requested information.

L1:(ii) Delegation. The HCA may delegate, no lower than one level above the

L0:contracting officer, the authority to determine whether it is in the best interest of the

L0:Government to issue an award in accordance with DFARS 215.403-170(b). This individual

L0:may be the individual responsible for approval of the prenegotiation objective (see DFARS

L0:215.408-1), unless that individual is the contacting officer.

L1:(iii) Reporting requirements.

L1:(A) Document, collect, and provide a report in the standard digital format (see

L0:paragraph (b)(iii)(B) of this subsection) to the HCA of all denials of contracting officer

L0:requests to offerors or contractors for data other than certified cost or pricing data that are

L0:not resolved through the elevation process at (b)(i) of this section and, therefore, require a

L0:determination by the HCA in accordance with DFARS 215.403-170(b). Place the HCA

L0:determination in the contract file.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(B) The HCA shall consolidate and validate this information for all impacted

L0:contracts and modifications regardless of dollar value and submit the information in the

L0:standard digital format available at

L0:https://www.acq.osd.mil/dpap/dars/pgi/docs/Data_Denials_Template_9-26-23.xlsx. A

L0:completed report or note of no findings is required to fulfill the reporting requirement to the

L0:Principal Director, Defense Pricing, Contracting, and Acquisition Policy (DPCAP). Reports

L0:are due to DPCAP 30 days after the end of each quarterly reporting period. HCAs must

L0:transmit reports electronically to DPCAP at osd.pentagon.ousd-a-s.mbx.dpc-pcf@mail.mil

L0:for incorporation into the ?Annual Report to Congress on Denials of Contracting Officer

L0:Uncertified Cost or Pricing Data Requests? submitted by the Under Secretary of Defense for

L0:Acquisition and Sustainment in accordance with 10 U.S.C. 3705(b)(2)(B).

L1:(C) HCAs must provide only the data denial section of the report that is

L0:applicable to the contractor or offeror reported within than 30 calendar days after receiving

L0:sections of the report in (B) from the Under Secretary of Defense for Acquisition and

L0:Sustainment. For subcontractors and interorganizational transfers, the HCA must provide a

L0:copy directly to the prime contractor for submittal to the applicable subcontractor or

L0:transferring organization.

L0:PGI 215.403-2 Prohibitions on obtaining certified cost or pricing data.

L0:PGI 215.403-270 Prohibition on obtaining certified cost or pricing data

L2:(a)(1) Exceptions to certified cost or pricing data requirements. Even if an exception to

L0:certified cost or pricing data applies, the contracting officer is still required to determine price

L0:reasonableness.

L1:(b) Waivers.

L1:(1) Exceptional case TINA waiver.

L1:(i) In determining that an exceptional case TINA waiver is appropriate, the HCA

L0:must ensure that the supplies or services could not be obtained without the waiver and that

L0:the determination is clearly documented. The intent is not to relieve entities that normally

L0:perform Government contracts subject to TINA from an obligation to certify that cost or

L0:pricing data are accurate, complete, and current. Instead, use waivers judiciously, in

L0:situations where the Government could not otherwise obtain a needed item without a waiver.

L0:A prime example would be when a particular company offers an item that is essential to

L0:DoD's mission but is not available from other sources, and the company refuses to submit

L0:certified cost or pricing data. In such cases, a waiver may be appropriate. However, the

L0:procuring agency should, in conjunction with the waiver, develop a strategy for procuring the

L0:item in the future that will not require such a waiver (e.g., develop a second source, develop

L0:an alternative product that satisfies the department's needs, or have DoD produce the item).

L1:(ii) Senior procurement executive coordination. An exceptional case TINA

L0:waiver that exceeds \$100 million shall be coordinated with the senior procurement executive

L0:prior to granting the waiver.

L1:(iii) Waiver for part of a proposal. The requirement for submission of

L0:certified cost or pricing data may be waived for part of an offeror's proposed price when it is

L0:possible to clearly identify that part of the offeror's cost proposal to which the waiver applies

L0:as separate and distinct from the balance of the proposal. In granting a partial waiver, in

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:addition to complying with the requirements in DFARS 215.403-270(b)(3), the HCA must

L0:address why it is in the Government's best interests to grant a partial waiver, given that the

L0:offeror has no objection to certifying to the balance of its cost proposal.

L1:(iv) Waivers for unpriced supplies or services. Because there is no price,

L0:unpriced supplies or services cannot be subject to cost or pricing data certification

L0:requirements. The Government cannot agree in advance to waive certification requirements

L0:for unpriced supplies or services, and may only consider a waiver at such time as an offeror

L0:proposes a price that would otherwise be subject to certification requirements.

L1:(2) Annual Reporting Requirement. By November 30th of each year, departments

L0:and agencies must provide a report to the Office of the Principal Director, Defense Pricing,

L0:Contracting, and Acquisition Policy (Price, Cost and Finance), of all waivers granted during

L0:the previous fiscal year under FAR 15.403-2(b)(4) and DFARS 215.403-270(b)(1) for any

L0:contract, subcontract, or modification expected to have a value of \$25 million or more. The

L0:annual report of waiver of TINA requirements shall include the following?

L0>Title: Waiver of TINA Requirements

L0:program name.

L1:(A) Contract number, including modification number, if applicable, and

L1:(B) Contractor name.

L1:(C) Contracting activity.

L1:(D) Total dollar amount waived.

L0:waiver.

L1:(E) Brief description of why the item(s) could not be obtained without a

L0:reasonableness.

L1:(F) Brief description of the specific steps taken to ensure price

L1:(G) Brief description of the demonstrated benefits of granting the waiver.

L1:(3) Waivers applicable to the Canadian Commercial Corporation. All contracts

L0:with the Canadian Commercial Corporation (CCC) are placed in accordance with the

L0:practices, policies and procedures of the Government of Canada covering procurement for

L0:defense purposes (see PGI 225.870). Contracting Officers may rely on the confirmation and

L0:endorsement of the offer from the Canadian Commercial Corporation at 225.870-3(a) as an

L0:endorsement of the cost/price as no more than would be charged to the Canadian

L0:government.

L1:(i) When 252.215-7990 or 252.215-7991 are included in a solicitation with

L0:the Canadian Commercial Corporation, the data required by paragraph (b)(i) and (ii), in

L0:concert with the confirmation and endorsement of the offer, is intended to meet the

L0:requirements of FAR 15.408-2 for documentation of fair and reasonable pricing.

L1:(ii) Support the Use of 252.215-7990 or 252.215-7991 in sole source

L0:acquisitions not meeting the threshold at 215.110-70(b)(1)(i)(A) or (b)(2)(i)(A) or competitive

L0:acquisitions at any dollar value with a determination and finding justifying the anticipated

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:need for data other than certified cost or pricing data to determine a fair and reasonable

L0:price.

L1:(iii) When the need for additional data to establish a fair and reasonable

L0:price, specific data is anticipated, request the data in the solicitation using 252.215-7990.

L1:(iv) Examples of clause use:

L0:Scenario

L0:Sole source to CCC, fixed price, with

L0:estimated value of \$600 million.

L0:Sole source to CCC, cost reimbursement,

L0:with estimated value of \$800,000.

L0:Sole source to CCC ,cost-reimbursement,

L0:with estimated value of \$500,000.

L0:Sole source to CCC ,fixed price, with

L0:estimated value of \$800,000

L0:Modifications to contracts that include the

L0:clause 252.215-7991.

L0:Requirement

L0:Include provision and clause in

L0:accordance with 215.110-70(b)(1)(i)(A)(2)

L0:and (b)(2)(i)(A)(2), respectively, because

L0:estimated value exceeds \$500 million.

L0:Include provision and clause in

L0:accordance with 215.110-70(b)(1)(i)(A)(1)

L0:and (b)(2)(i)(A)(1), respectively, because

L0:estimated value exceeds \$700,000.

L0:Do not include provision and clause,

L0:unless D&F is approved in accordance

L0:with 215.110-70(b)(1)(i)(B) and

L4:(b)(2)(i)(B), respectively, because

L0:estimated value does not exceed

L0:\$700,000.

L0:Do not include provision and clause,

L0:unless D&F is approved in accordance

L0:with 215.110-70(b)(1)(i)(B) and

L4:(b)(2)(i)(B), respectively, because

L0:estimated value does not exceed \$500

L0:million.

L0:If 252.215-7991 is included in the

L0:contract, then data are required for

L0:modifications valued above the simplified
L0:acquisition threshold, or a higher
L0:threshold specified in the solicitation by
L0:the contracting officer, in accordance with
L0:252.215-7991(b).
L0:PGI 215.403-4 Certificate of current cost or pricing data.
L1:(a) Prior to the start of negotiations, contracting officers should notify offerors and
L0:contractors that?
L1:(1) A Certificate of Current Cost or Pricing Data, as prescribed by FAR 15.403-4,
L0:must be submitted as soon as practicable after agreement on price (preferably within 5 days
L0:after price agreement), but before contract award or execution of a modification (except for
L0:unpriced actions such as letter contracts).
L1:(2) A Certificate of Current Cost or Pricing Data that deviates from the language
L0:specified in FAR 15.403-4 or has been amended to include certification of data submitted
L0:after the date of price agreement, will not be accepted.
L1:(b) If any data is submitted after the date of price agreement, contracting officers must?
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215
L1:(1) Notify offerors in writing that such data will not be reviewed until after contract
L0:award and will be dispositioned in accordance with FAR 15.304 and FAR clause 52.215-10
L0:or 52.215-11, as applicable, or
L1:(2) Consider the previous price agreement null and void, and prior to award?
L1:(i) Reopen negotiations to assess the impact of the data submitted after the
L0:date of price agreement (?sweep data?),
L1:(ii) Reestablish price agreement based on cost or pricing data that is accurate,
L0:complete, and current as of the date of the revised agreement on price, and
L1:(iii) Obtain a new Certificate of Current Cost or Pricing Data for any new or
L0:revised data submitted after the previous certification.
L1:(3) If a contractor persistently submits untimely ?sweep? data or fails to timely submit
L0:cost or pricing data or the certification that the data are accurate, complete, and current as of
L0:the date of price agreement, the contracting officer should refer the matter to the Defense
L0:Contract Audit Agency (DCAA) via the Administrative Contracting Officer, Divisional
L0:Administrative Contracting Officer, or Corporate Administrative Contracting Officer, as
L0:appropriate, for consideration in DCAA?s review of the adequacy of the contractor?s
L0:estimating system.
L0:PGI 215.404 Cost and/or price analysis.
L0:PGI 215.404-170 Price Analysis.
L1:(a) See the Department of Defense Guidebook for Acquiring Commercial Items,
L0:Part B: Pricing Commercial Items, for detailed guidance about techniques and approaches
L0:to pricing commercial products and commercial services.
L1:(e) Contracting officers must obtain and document sufficient data to confirm that
L0:previous prices paid by the Government were based on a thorough price and/or cost
L0:analysis. For example, it would not be sufficient to use price(s) from a database paid by
L0:another contracting officer without understanding the type of analysis that was performed to
L0:determine the reasonableness of the price(s), and without verifying that the quantities were

L0:similar for pricing purposes. This does not necessarily need to be another analysis, but

L0:there should be coordination with the other office that acknowledges an analysis was

L0:performed previously.

L1:(g) DoD?s cadre of experts within the Defense Contract Management Agency

L1:(DCMA) will provide assistance with commercial product or commercial service

L0:determinations and price reasonableness determinations. Information about how to obtain

L0:advisory assistance from DCMA?s Commercial Item Group is available via email at

L0:dcma.boston-ma.easterrn-rc.mbx.Commercial@mail.mil or at

L0:http://www.dcmamil/commercial-item-group/.

L0:PGI 215.404-2 Cost Analysis.

L2:(a)(1) When the contracting officer cannot obtain sufficient data to perform a price

L0:analysis in accordance with FAR 15.404-1, a cost analysis is required.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(2) When a solicitation is not subject to TINA and a cost analysis is required, clearly

L0:communicate to the offeror or contractor the cost data that will be needed to determine if the

L0:proposed price is fair and reasonable. See PGI 215.403-1(c).

L1:(3) Consider the need for field pricing support from the Defense Contract

L0:Management Agency, the Defense Contract Audit Agency, and/or other agencies. See PGI

215.404-973 for guidance on using the structured approaches). Administrative instructions

Status: active

L0:215.404-973 for guidance on using the structured approaches). Administrative instructions

L0:for completing the form are in PGI 253.215-70.

L1:(2) Ensure that the DD Form 1547 is accurately completed. The contracting officer

L0:is responsible for the correction of any errors detected by the management system auditing

L0:process.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:PGI 215.404-971 Weighted guidelines method.

L1:(a) General.

L1:(1) The weighted guidelines method focuses on four profit factors?

L1:(i) Performance risk,

L1:(ii) Contract type risk,

L1:(iii) Facilities capital employed, and

L1:(iv) Cost efficiency.

L1:(2) Assign values to each profit factor; the value multiplied by the base results in the

L0:profit objective for that factor. Except for the cost efficiency special factor, each profit factor

L0:has a normal value and a designated range of values. The normal value is representative of

L0:average conditions on the prospective contract when compared to all goods and services

L0:acquired by DoD. The designated range provides values based on above normal or below

L0:normal conditions. In the price negotiation documentation, address conditions that justify

L0:assignment of other than the normal value. The cost efficiency special factor has no normal

L0:value. Exercise sound business judgment in selecting a value when this special factor is

L0:used (see 215.404-971(e)).

L1:(b) Performance risk.

L1:(1) Description. This profit factor addresses the contractor's degree of risk in

L0:fulfilling the contract requirements. The factor consists of two parts:

L1:(i) Technical--the technical uncertainties of performance.

L1:(ii) Management/cost control--the degree of management effort necessary?

L1:(A) To ensure that contract requirements are met; and

L1:(B) To reduce and control costs.

L1:(2) Determination. The following extract from the DD Form 1547 is annotated to

L0:describe the process.

L0:Item Contractor Risk Factors

L0:21.

L0:22.

L0:Technical

L0:Management/

L0:Cost Control

L0:Performance Risk

L1:(Composite)

L0:23.

L0:Assigned Assigned

L0:Weighting

L1:(1)

L1:(1)

L0:Value

L1:(2)

L1:(2)

L0:N/A

L1:(3)

L0:Base

L0:Profit

L0:(Item 20) Objective

L0:N/A

L0:N/A

L1:(4)

L0:N/A

L0:N/A

L1:(5)

L1:(i) Assign a weight (percentage) to each element according to its input to the

L0:total performance risk. The total of the two weights equals 100 percent.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(ii) Select a value for each element from the list in paragraph (b)(3) of this

L0:section using the evaluation criteria in paragraphs (b)(4) and (b)(5) of this section.

L1:(iii) Compute the composite as shown in the following example:

L0:Technical

L0:Management/

L0:Cost Control

L0:Assigned

L0:Weighting

L0:60%

L0:40%

L0:Assigned

L0:Value

L0:5.0%

L0:4.0%

L0:Weighted

L0:Value

L0:3.0%

L0:1.6%

L0:Composite Value

L0:100%

L0:4.6%

L1:(iv) Insert the amount from Block 20 of the DD Form 1547. Block 20 is total

L0:contract costs, excluding facilities capital cost of money.

L1:(v) Multiply (b)(2)(iii) by (b)(2)(iv).

L1:(3) Values: Normal and designated ranges.

L0:Standard

L0:Technology

L0:Incentive

L0:Normal Value

L0:5%

L0:9%

L0:Designated Range

L0:3% to 7%

L0:7% to 11%

L1:(i) Standard. The standard designated range should apply to most contracts.

L1:(ii) Technology incentive. For the technical factor only, contracting officers may

L0:use the technology incentive range for acquisitions that include development, production, or

L0:application of innovative new technologies. The technology incentive range does not apply

L0:to efforts restricted to studies, analyses, or demonstrations that have a technical report as

L0:their primary deliverable.

L1:(4) Evaluation criteria for technical.

L1:(i) Review the contract requirements and focus on the critical performance

L0:elements in the statement of work or specifications. Factors to consider include?

L1:(A) Technology being applied or developed by the contractor,

L1:(B) Technical complexity,

L1:(C) Program maturity,
L1:(D) Performance specifications and tolerances,
L1:(E) Delivery schedule, and
L1:(F) Extent of a warranty or guarantee.
L1:(ii) Above normal conditions.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215
L0:cases where there is a substantial technical risk. Indicators are?
L1:(A) The contracting officer may assign a higher than normal value in those
L0:tolerance limits,
L1:(1) Items are being manufactured using specifications with stringent
L0:state-of-the-art machinery,
L1:(2) The efforts require highly skilled personnel or require the use of
L0:Government and must be performed to exacting standards,
L1:(3) The services and analytical efforts are extremely important to the
L0:reduced the Government's risk or cost,
L1:(4) The contractor's independent development and investment has
L0:meet DoD requirements, or
L1:(5) The contractor has accepted an accelerated delivery schedule to
L0:provisions.
L1:(6) The contractor has assumed additional risk through warranty
L1:(B) Extremely complex, vital efforts to overcome difficult technical obstacles
L0:that require personnel with exceptional abilities, experience, and professional credentials
L0:may justify a value significantly above normal.
L1:(C) The following may justify a maximum value?
L0:performance or quality specifications are tight, or
L1:(1) Development or initial production of a new item, particularly if
L1:(2) A high degree of development or production concurrency.
L1:(iii) Below normal conditions.
L0:cases where the technical risk is low. Indicators are?
L1:(A) The contracting officer may assign a lower than normal value in those
L1:(1) Requirements are relatively simple,
L1:(2) Technology is not complex,
L1:(3) Efforts do not require highly skilled personnel,
L1:(4) Efforts are routine,
L1:(5) Programs are mature, or
L1:(6) Acquisition is a follow-on effort or a repetitive type acquisition.
L1:(B) The contracting officer may assign a value significantly below normal
L0:for?
L1:(1) Routine services,
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215
L1:(2) Production of simple items,
L0:information, or
L1:(3) Rote entry or routine integration of Government-furnished

L1:(4) Simple operations with Government-furnished property.

L1:(iv) Technology incentive range.

L1:(A) The contracting officer may assign values within the technology

L0:incentive range when contract performance includes the introduction of new, significant

L0:technological innovation. Use the technology incentive range only for the most innovative

L0:contract efforts. Innovation may be in the form of?

L1:(1) Development or application of new technology that fundamentally

L0:changes the characteristics of an existing product or system and that results in increased

L0:technical performance, improved reliability, or reduced costs, or

L0:advances over the products or systems they are replacing.

L1:(2) New products or systems that contain significant technological

L1:(B) When selecting a value within the technology incentive range, the

L0:contracting officer should consider the relative value of the proposed innovation to the

L0:acquisition as a whole. When the innovation represents a minor benefit, the contracting

L0:officer should consider using values less than the norm. For innovative efforts that will have

L0:a major positive impact on the product or program, the contracting officer may use values

L0:above the norm.

L1:(5) Evaluation criteria for management/cost control.

L1:(i) The contracting officer should evaluate?

L1:(A) The contractor's management and internal control systems using

L0:contracting office data, information and reviews made by field contract administration offices

L0:or other DoD field offices,

L0:action,

L1:(B) The management involvement expected on the prospective contract

L0:applied and value added by the contractor,

L1:(C) The degree of cost mix as an indication of the types of resources

L1:(D) The contractor's support of Federal socioeconomic programs,

L0:contractor's cost estimating system),

L1:(E) The expected reliability of the contractor's cost estimates (including the

L0:cost and schedule, and

L1:(F) The adequacy of the contractor's management approach to controlling

L0:targets (e.g., foreign currency exchange rates and inflation rates).

L1:(G) Any other factors that affect the contractor's ability to meet the cost

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(ii) Above normal conditions.

L0:there is a high degree of management effort. Indicators of this are?

L1:(A) The contracting officer may assign a higher than normal value when

L0:difficult,

L1:(1) The contractor's value added is both considerable and reasonably

L1:(2) The effort involves a high degree of integration or coordination,

L1:(3) The contractor has a good record of past performance,

L1:(4) The contractor has a substantial record of active participation in

L0:Federal socioeconomic programs,

L0:estimates,

L1:(5) The contractor provides fully documented and reliable cost

L1:(6) The contractor makes appropriate make-or-buy decisions, or

L1:(7) The contractor has a proven record of cost tracking and control.

L1:(B) The contracting officer may justify a maximum value when the effort?

L1:(1) Requires large scale integration of the most complex nature,
L0:coordination (e.g., offsets with foreign vendors), or

L1:(2) Involves major international activities with significant management

L1:(3) Has critically important milestones.

L1:(C) If the contractor demonstrates efficient management and cost control
L0:through the submittal of a timely, qualifying proposal (as defined in 217.7401) in furtherance
L0:of definitization of an undefinitized contract action, and the proposal demonstrates effective
L0:cost control from the time of award to the present, the contracting officer may add 1
L0:percentage point to the value determined for management/cost control up to the maximum
L0:of 7 percent.

L1:(iii) Below normal conditions.

L0:management effort is minimal. Indicators of this are?

L1:(A) The contracting officer may assign a lower than normal value when the
L0:made;

L1:(1) The program is mature and many end item deliveries have been

L1:(2) The contractor adds minimal value to an item;

L1:(3) The efforts are routine and require minimal supervision;

L1:(4) The contractor provides poor quality, untimely proposals;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215

L0:subcontractor costs;

L1:(5) The contractor fails to provide an adequate analysis of
L0:negotiation of the proposal;

L1:(6) The contractor does not cooperate in the evaluation and

L1:(7) The contractor's cost estimating system is marginal;

L1:(8) The contractor has made minimal effort to initiate cost reduction
L0:programs;

L1:(9) The contractor's cost proposal is inadequate;
L0:of unreliable cost estimates and lack of cost control; or

L1:(10) The contractor has a record of cost overruns or another indication

L1:(11) The contractor has a poor record of past performance.

L1:(B) The following may justify a value significantly below normal?

L1:(1) Reviews performed by the field contract administration offices
L0:disclose unsatisfactory management and internal control systems (e.g., quality assurance,
L0:property control, safety, security); or
L0:involvement.

L1:(2) The effort requires an unusually low degree of management

L1:(c) Contract type risk and working capital adjustment.

L1:(1) Description. The contract type risk factor focuses on the degree of cost risk
L0:accepted by the contractor under varying contract types. The working capital adjustment is
L0:an adjustment added to the profit objective for contract type risk. It only applies to fixed-

L0:price contracts that provide for progress payments. Though it uses a formula approach, it is

L0:not intended to be an exact calculation of the cost of working capital. Its purpose is to give

L0:general recognition to the contractor's cost of working capital under varying contract

L0:circumstances, financing policies, and the economic environment.

L1:(2) Determination. The following extract from the DD 1547 is annotated to explain

L0:the process.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:Item

L0:24a

L0:24b

L0:24c

L0:Contractor

L0:Risk Factors

L0:Contract Type Risk

L0:(based on incurred

L0:costs at the time of

L0:qualifying proposal

L0:submission)

L0:Contract Type Risk

L0:(based on

L0:Government

L0:estimated cost to

L0:complete)

L0:Totals

L0:Assigned

L0:Value

L1:(1)

L0:Base

L2:(2)(i)

L0:Profit

L0:Objective

L1:(3)

L1:(1)

L2:(2)(ii)

L1:(3)

L1:(3)

L1:(3)

L0:Item

L0:25

L0:Contractor

L0:Risk Factors

L0:Working Capital (4)

L0:Costs

L0:Financed

L1:(5)

L0:Length

L0:Factor

L1:(6)

L0:Interest

L0:Rate

L1:(7)

L0:Profit

L0:Objective

L1:(8)

L1:(i) Select a value from the list of contract types in paragraph (c)(3) of this section

L0:using the evaluation criteria in paragraph (c)(4) of this section. See paragraph (c)(4)(ii) of

L0:this section.

L2:(ii)(A) Insert the amount of costs incurred as of the date the contractor submits a

L0:qualifying proposal, such as under an undefinitized contract action (excluding facilities

L0:capital cost of money) into the Block 24a column titled Base.

L0:facilities capital cost of money) into the Block 24b column titled Base.

L1:(B) Insert the amount of Government estimated cost to complete (excluding

L1:(iii) Multiply (1) by (c)(2)(ii)(A) and (c)(2)(ii)(B), respectively for blocks 24a and

L0:24b. Add Blocks 24a and 24b and insert the totals in Block 24c.

L1:(iv) Only complete this block when the prospective contract is a fixed-price

L0:contract containing provisions for progress payments.

L1:(v) Insert the amount computed per paragraph (c)(5) of this section.

L1:(vi) Insert the appropriate figure from paragraph (c)(6) of this section.

L1:(vii) Use the interest rate established by the Secretary of the Treasury (see

L0:<https://www.fiscal.treasury.gov/prompt-payment/rates.html>). Do not use any other interest

L0:rate.

L1:(viii) Multiply (c)(2)(v) by (c)(2)(vi) by (c)(2)(vii). This is the working capital

L0:adjustment. It shall not exceed 4 percent of the contract costs in Block 20.

L1:(3) Values: Normal and designated ranges.

L0:Contract Type

L0:Firm-fixed-price, no financing

L0:Notes

L1:(i)

L0:Normal Designated

L0:Value

L1:(percent)

L0:5

L0:Range

L1:(percent)

L0:4 to 6

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:Firm-fixed-price, with performance-based
L0:payments
L0:Firm-fixed-price, with progress payments
L0:Fixed-price incentive, no financing
L0:Fixed-price incentive, with performance-
L0:based payments
L0:Fixed-price with redetermination provision
L0:Fixed-price incentive, with progress
L0:payments
L0:Cost-plus-incentive-fee
L0:Cost-plus-fixed-fee
L0:Time-and-materials (including overhaul
L0:contracts priced on time-and-materials
L0:basis)
L0:Labor-hour
L0:Firm-fixed-price, level-of-effort
L1:(vi)
L1:(ii)
L1:(i)
L1:(vi)
L1:(iii)
L1:(ii)
L1:(iv)
L1:(iv)
L1:(v)
L1:(v)
L1:(v)
L0:4
L0:3
L0:3
L0:2
L0:1
L0:1
L0:0.5
L0:0.5
L0:0.5
L0:0.5
L0:2.5 to 5.5
L0:2 to 4
L0:2 to 4
L0:0.5 to 3.5
L0:0 to 2
L0:0 to 2
L0:0 to 1

L0:0 to 1

L0:0 to 1

L0:0 to 1

L1:(i) ?No financing? means either that the contract does not provide progress

L0:payments or performance-based payments, or that the contract provides them only on a

L0:limited basis, such as financing of first articles. Do not compute a working capital

L0:adjustment.

L1:(ii) When the contract contains provisions for progress payments, compute a

L0:working capital adjustment (Block 25).

L1:(iii) For the purposes of assigning profit values, treat a fixed-price contract with

L0:redetermination provisions as if it were a fixed-price incentive contract with below normal

L0:conditions.

L1:(iv) Cost-plus contracts shall not receive the working capital adjustment.

L1:(v) These types of contracts are considered cost-plus-fixed-fee contracts for the

L0:purposes of assigning profit values. They shall not receive the working capital adjustment in

L0:Block 25. However, they may receive higher than normal values within the designated

L0:range to the extent that portions of cost are fixed.

L1:(vi) When the contract contains provisions for performance-based payments, do

L0:not compute a working capital adjustment.

L1:(4) Evaluation criteria.

L1:(i) General. The contracting officer should consider elements that affect

L0:contract type risk such as?

L1:(A) Length of contract,

L1:(B) Adequacy of cost data for projections,

L1:(C) Economic environment,

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(D) Nature and extent of subcontracted activity,

L0:economic price adjustment clauses),

L1:(E) Protection provided to the contractor under contract provisions (e.g.,

L1:(F) The ceilings and share lines contained in incentive provisions,

L0:not funded by U.S. appropriations, and

L1:(G) Risks associated with contracts for foreign military sales (FMS) that are

L0:payments?

L1:(H) When the contract contains provisions for performance-based

L1:(1) The frequency of payments,

L0:allowable amount specified at FAR 32.1004(b)(2), and

L1:(2) The total amount of payments compared to the maximum

L1:(3) The risk of the payment schedule to the contractor.

L1:(ii) Mandatory.

L1:(A) Assess the extent to which costs have been incurred prior to

L0:definition of the contract action (also see 217.7404-6 and 243.370-6). When considering

L0:the reduced cost risks associated with allowable incurred costs on an undefinitized contract

L0:action, it is appropriate to apply separate contract risk factors for allowable incurred costs

L0:and estimated costs to complete when completing the contract risk sections of DD Form

L0:1547, Record of Weighted Guidelines. When costs have been incurred prior to L0:definitization, generally regard the contract type risk to be in the low end of the designated L0:range. If a substantial portion of the costs has been incurred prior to definitization, the L0:contracting officer may assign a value as low as zero percent, regardless of contract type. L0:However, if a contractor submits a qualifying proposal to definitize an undefinitized contract L0:action and the contracting officer for such action definitizes the contract after the end of the L0:180-day period beginning on the date on which the contractor submitted the qualifying L0:proposal as defined in 217.7401, the profit allowed on the contract shall accurately reflect L0:the cost risk of the contractor as such risk existed on the date the contractor submitted the L0:qualifying proposal.

L1:(B) Document in the price negotiation memorandum the reason for L0:assigning a specific contract type risk value, to include the extent to which any reduced cost L0:risk during the undefinitized period of performance was considered, in determining the L0:negotiation objective.

L1:(iii) Above normal conditions. The contracting officer may assign a higher than L0:normal value when there is substantial contract type risk. Indicators of this are?

L1:(A) Efforts where there is minimal cost history, L0:particularly when there is considerable economic uncertainty.

L1:(B) Long-term contracts without provisions protecting the contractor, L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15 L0:Defense FAR Supplement (DFARS) Part 215 L0:a high degree of risk on the contractor,

L1:(C) Incentive provisions (e.g., cost and performance incentives) that place L1:(D) FMS sales (other than those under DoD cooperative logistics support L0:arrangements or those made from U.S. Government inventories or stocks) where the L0:contractor can demonstrate that there are substantial risks above those normally present in L0:DoD contracts for similar items, or L0:risk.

L1:(E) An aggressive performance-based payment schedule that increases L1:(iv) Below normal conditions. The contracting officer may assign a lower than L0:normal value when the contract type risk is low. Indicators of this are?

L1:(A) Very mature product line with extensive cost history, L1:(B) Relatively short-term contracts, L1:(C) Contractual provisions that substantially reduce the contractor's risk, L1:(D) Incentive provisions that place a low degree of risk on the contractor, L0:amount(s) specified at FAR 32.1004(b)(2), or L1:(E) Performance-based payments totaling the maximum allowable L1:(F) A performance-based payment schedule that is routine with minimal L0:risk.

L1:(5) Costs financed.

L1:(i) Costs financed equal total costs multiplied by the portion (percent) of costs L0:financed by the contractor.

L1:(ii) Total costs equal Block 20 (i.e., all allowable costs excluding facilities capital L0:cost of money), reduced as appropriate when? L0:payments liquidated late in period of performance),

L1:(A) The contractor has little cash investment (e.g., subcontractor progress
L0:advance payments, or
L1:(B) Some costs are covered by special financing provisions, such as
L1:(C) The contract is multiyear and there are special funding arrangements.
L1:(iii) The portion that the contractor finances is generally the portion not covered
L0:by progress payments, i.e., 100 percent minus the customary progress payment rate (see
L0:FAR 32.501-1). For example, if a contractor receives progress payments at 80 percent, the
L0:portion that the contractor finances is 20 percent. On contracts that provide progress
L0:payments to small businesses, use the customary progress payment rate for large
L0:businesses.
L1:(6) Contract length factor.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215
L1:(i) This is the period of time that the contractor has a working capital investment
L0:in the contract. It?
L0:substantive portion of the work,
L1:(A) Is based on the time necessary for the contractor to complete the
L0:delivery (or final payment), as periods of minimal effort should be excluded,
L1:(B) Is not necessarily the period of time between contract award and final
L0:provisions, and
L1:(C) Should not include periods of performance contained in option
L0:beyond that required to complete the initial program year's requirements.
L1:(D) Should not, for multiyear contracts, include periods of performance
L1:(ii) The contracting officer?
L1:(A) Should use the following table to select the contract length factor,
L0:has multiple deliveries, and
L1:(B) Should develop a weighted average contract length when the contract
L0:result.
L1:(C) May use sampling techniques provided they produce a representative
L0:Period to Perform Substantive
L0:Portion (in months)

L0:TABLE

L0:21 or less
L0:22 to 27
L0:28 to 33
L0:34 to 39
L0:40 to 45
L0:46 to 51
L0:52 to 57
L0:58 to 63
L0:64 to 69
L0:70 to 75
L0:76 or more
L0:Contract Length
L0:Factor

L0:.40

L0:.65

L0:.90

L0:1.15

L0:1.40

L0:1.65

L0:1.90

L0:2.15

L0:2.40

L0:2.65

L0:2.90

L1:(iii) Example: A prospective contract has a performance period of 40 months

L0:with end items being delivered in the 34th, 36th, 38th, and 40th months of the contract. The

L0:average period is 37 months and the contract length factor is 1.15.

L1:(d) Facilities capital employed.

L1:(1) Description. This factor focuses on encouraging and rewarding capital

L0:investment in facilities that benefit DoD. It recognizes both the facilities capital that the

L0:contractor will employ in contract performance and the contractor's commitment to improving

L0:productivity.

L1:(2) Contract facilities capital estimates. Estimate the facilities capital cost of money

L0:and capital employed using?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(i) An analysis of the appropriate Forms CASB-CMF and cost of money factors

L0:(48 CFR 9904.414 and FAR 31.205-10), and

L1:(ii) DD Form 1861, Contract Facilities Capital Cost of Money.

L1:(3) Use of DD Form 1861.

L1:(i) Purpose. The DD Form 1861 provides a means of linking the Form CASB-

L0:CMF and DD Form 1547, Record of Weighted Guidelines Application. It?

L1:(A) Enables the contracting officer to differentiate profit objectives for

L0:various types of assets (land, buildings, equipment). The procedure is similar to applying

L0:overhead rates to appropriate overhead allocation bases to determine contract overhead

L0:costs.

L0:money and capital employed which is carried forward to DD Form 1547.

L1:(B) Is designed to record and compute the contract facilities capital cost of

L1:(ii) Completion instructions. Complete a DD Form 1861 only after evaluating

L0:the contractor's cost proposal, establishing cost of money factors, and establishing a

L0:prenegotiation objective on cost. Complete the form as follows?

L1:(A) List overhead pools and direct-charging service centers (if used) in the

L0:same structure as they appear on the contractor's cost proposal and Form CASB-CMF. The

L0:structure and allocation base units-of-measure must be compatible on all three displays.

L1:(B) Extract appropriate contract overhead allocation base data, by year,

L0:from the evaluated cost breakdown or prenegotiation cost objective and list against each

L0:overhead pool and direct-charging service center.

L1:(C) Multiply each allocation base by its corresponding cost of money factor
L0:to get the facilities capital cost of money estimated to be incurred each year. The sum of
L0:these products represents the estimated contract facilities capital cost of money for the
L0:year's effort.

L1:(D) Total contract facilities cost of money is the sum of the yearly amounts.

L1:(E) Since the facilities capital cost of money factors reflect the applicable
L0:cost of money rate in Column 1 of Form CASB-CMF, divide the contract cost of money by
L0:that same rate to determine the contract facilities capital employed.

L1:(iii) Field pricing support.

L1:(A) May ask the ACO to complete the forms as part of field pricing support.

L1:(B) When the Weighted Guidelines Method is used, completion of the DD
L0:Form 1861 requires data not included on the Form CASB-CMF, i.e., distribution percentages
L0:of land, building, and equipment for the business unit performing the contract. Choose the
L0:most practical method for obtaining this data, for example?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215

L1:(1) Contract administration offices could obtain the data through the
L0:process used to establish factors for facilities capital cost of money or could establish
L0:advance agreements on distribution percentages for inclusion in field pricing reports,

L1:(2) The corporate ACO could obtain distribution percentages, or

L1:(3) The contracting officer could request the data through a solicitation
L0:provision.

L1:(4) Preaward facilities capital applications. To establish cost and price objectives,
L0:apply the facilities capital cost of money and capital employed as follows?

L1:(i) Cost of Money.

L1:(A) Cost Objective. Use the imputed facilities capital cost of money, with
L0:normal, booked costs, to establish a cost objective or the target cost when structuring an
L0:incentive type contract. Do not adjust target costs established at the outset even though
L0:actual cost of money rates become available during the period of contract performance.

L1:(B) Profit Objective. When measuring the contractor's effort for the purpose
L0:of establishing a prenegotiation profit objective, restrict the cost base to normal, booked
L0:costs. Do not include cost of money as part of the cost base.

L1:(ii) Facilities Capital Employed. Assess and weight the profit objective for risk
L0:associated with facilities capital employed in accordance with the profit guidelines at
L0:215.404-971(d).

L1:(5) Determination. The following extract from the DD Form 1547 has been
L0:annotated to explain the process.

L0:Item

L0:26.

L0:27.

L0:28.

L0:Contractor Facilities

L0:Capital Employed

L0:Land

L0:Buildings

L0:Equipment

L0:Assigned

L0:Value

L0:N/A

L0:N/A

L1:(1)

L0:Amount

L0:Employed

L1:(2)

L1:(2)

L1:(2)

L0:Profit

L0:Objective

L0:N/A

L0:N/A

L1:(3)

L1:(i) Select a value from the list in paragraph (d)(6) of this section using the

L0:evaluation criteria in paragraph (d)(7) of this section.

L1:(ii) Use the allocated facilities capital attributable to land, buildings, and

L0:equipment, as derived in DD Form 1861, Contract Facilities Capital Cost of Money.

L1:(A) In addition to the net book value of facilities capital employed, consider

L0:facilities capital that is part of a formal investment plan if the contractor submits reasonable

L0:evidence that?

L1:(1) Achievable benefits to DoD will result from the investment, and

L1:(2) The benefits of the investment are included in the forward pricing

L0:structure.

L0:cost (i.e., excluding general and administrative (G&A) expenses and profit), add to the

L1:(B) If the value of intracompany transfers has been included in Block 20 at

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:contractor's allocated facilities capital, the allocated facilities capital attributable to the

L0:buildings and equipment of those corporate divisions supplying the intracompany transfers.

L0:Do not make this addition if the value of intracompany transfers has been included in Block

L0:20 at price (i.e., including G&A expenses and profit).

L1:(iii) Multiply (d)(5)(i) by (d)(5)(ii).

L1:(6) Values: Normal and designated ranges.

L0:Asset Type

L0:Land

L0:Buildings

L0:Equipment

L0:Normal Value

L0:0%

L0:0%

L0:17.5%

L0:Designated Range

L0:N/A

L0:N/A

L0:10% to 25%

L1:(7) Evaluation criteria.

L1:(i) In evaluating facilities capital employed, the contracting officer?

L0:services being acquired under the prospective contract,

L1:(A) Should relate the usefulness of the facilities capital to the goods or

L0:industrial base enhancing benefits resulting from the facilities capital investment, including?

L1:(B) Should analyze the productivity improvements and other anticipated

L0:undepreciated value, idleness, and expected contribution to future defense needs, and

L1:(1) The economic value of the facilities capital, such as physical age,

L0:compared with the portion of the contractor's total business that is derived from DoD; and

L1:(2) The contractor's level of investment in defense related facilities as

L1:(C) Should consider any contractual provisions that reduce the contractor's

L0:risk of investment recovery, such as termination protection clauses and capital investment

L0:indemnification.

L1:(ii) Above normal conditions.

L0:facilities capital investment has direct, identifiable, and exceptional benefits. Indicators are?

L1:(A) The contracting officer may assign a higher than normal value if the

L1:(1) New investments in state-of-the-art technology that reduce

L0:acquisition cost or yield other tangible benefits such as improved product quality or

L0:accelerated deliveries, or

L0:applications.

L1:(2) Investments in new equipment for research and development

L1:(B) The contracting officer may assign a value significantly above normal

L0:when there are direct and measurable benefits in efficiency and significantly reduced

L0:acquisition costs on the effort being priced. Maximum values apply only to those cases

L0:where the benefits of the facilities capital investment are substantially above normal.

L1:(iii) Below normal conditions.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:facilities capital investment has little benefit to DoD. Indicators are?

L1:(A) The contracting officer may assign a lower than normal value if the

L0:lines,

L1:(1) Allocations of capital apply predominantly to commercial product

L0:group level administrative offices, corporate aircraft and hangars, gymnasiums, or

L1:(2) Investments are for such things as furniture and fixtures, home or

L1:(3) Facilities are old or extensively idle.

L1:(B) The contracting officer may assign a value significantly below normal

L0:when a significant portion of defense manufacturing is done in an environment characterized

L0:by outdated, inefficient, and labor-intensive capital equipment.

L1:(e) Cost efficiency factor.

L1:(1) This special factor provides an incentive for contractors to reduce costs. To the
L0:extent that the contractor can demonstrate cost reduction efforts that benefit the pending
L0:contract, the contracting officer may increase the prenegotiation profit objective by an
L0:amount not to exceed 4 percent of total objective cost (Block 20 of the DD Form 1547) to
L0:recognize these efforts (Block 29).

L1:(2) To determine if using this factor is appropriate, consider criteria, such as the
L0:following, to evaluate the benefit the contractor's cost reduction efforts will have on the
L0:pending contract:

L1:(i) The contractor's participation in Single Process Initiative improvements;

L1:(ii) Actual cost reductions achieved on prior contracts;

L1:(iii) Reduction or elimination of excess or idle facilities;

L1:(iv) The contractor's cost reduction initiatives (e.g., competition advocacy
L0:programs, technical insertion programs, obsolete parts control programs, spare parts pricing
L0:reform, value engineering, outsourcing of functions such as information technology). Metrics
L0:developed by the contractor such as fully loaded labor hours (i.e., cost per labor hour,
L0:including all direct and indirect costs) or other productivity measures may provide the basis
L0:for assessing the effectiveness of the contractor's cost reduction initiatives over time;

L1:(v) The contractor's adoption of process improvements to reduce costs;

L1:(vi) Subcontractor cost reduction efforts;

L1:(vii) The contractor's effective incorporation of commercial products or
L0:commercial services and commercial processes; or

L1:(viii) The contractor's investment in new facilities when such investments
L0:contribute to better asset utilization or improved productivity.

L1:(3) When selecting the percentage to use for this special factor, the contracting
L0:officer has maximum flexibility in determining the best way to evaluate the benefit the
L0:contractor's cost reduction efforts will have on the pending contract. However, the
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
L0:Defense FAR Supplement (DFARS) Part 215

L0:contracting officer shall consider the impact that quantity differences, learning, changes in
L0:scope, and economic factors such as inflation and deflation will have on cost reduction.
L0:PGI 215.404-972 Modified weighted guidelines method for nonprofit organizations
L0:other than FFRDCs.

L1:(a) Definition. As used in this subpart, a nonprofit organization is a business entity?

L1:(1) That operates exclusively for charitable, scientific, or educational purposes,

L1:(2) Whose earnings do not benefit any private shareholder or individual,

L1:(3) Whose activities do not involve influencing legislation or political campaigning for
L0:any candidate for public office, and

L1:(4) That is exempted from Federal income taxation under section 501 of the Internal
L0:Revenue Code.

L1:(b) For nonprofit organizations that are entities that have been identified by the
L0:Secretary of Defense or a Secretary of a Department as receiving sustaining support on a
L0:cost-plus-fixed-fee basis from a particular DoD department or agency, compute a fee
L0:objective for covered actions using the weighted guidelines method in 215.404-971, with the
L0:following modifications?

L1:(1) Modifications to performance risk (Blocks 21-23 of the DD Form 1547).

L1:(i) If the contracting officer assigns a value from the standard designated range

L0:(see 215.404-971(b)(3)), reduce the fee objective by an amount equal to 1 percent of the
L0:costs in Block 20 of the DD Form 1547. Show the net (reduced) amount on the DD Form

L0:1547.

L1:(ii) Do not assign a value from the technology incentive designated range.

L1:(2) Modifications to contract type risk (Block 24 of the DD Form 1547). Use a

L0:designated range of -1 percent to 0 percent instead of the values in 215.404-971(c). There
L0:is no normal value.

L1:(c) For all other nonprofit organizations except FFRDCs, compute a fee objective for

L0:covered actions using the weighted guidelines method in 215.404-971, modified as

L0:described in paragraph (b)(1) of this section.

L0:PGI 215.404-973 Alternate structured approaches.

L1:(a) The contracting officer may use an alternate structured approach under 215.404-

L0:970(b).

L1:(b) The contracting officer may design the structure of the alternate, but it must

L0:include?

L1:(1) Consideration of the three basic components of profit--performance risk,

L0:contract type risk (including working capital), and facilities capital employed. However, the

L0:contracting officer is not required to complete Blocks 21 through 30 of the DD Form 1547.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(2) Offset for facilities capital cost of money.

L1:(i) Reduce the overall prenegotiation profit objective by the amount of facilities

L0:capital cost of money under Cost Accounting Standard (CAS) 414, Cost of Money as an

L0:Element of the Cost of Facilities Capital (48 CFR 9904.414). Cost of money under CAS

L0:417, Cost of Money as an Element of the Cost of Capital Assets Under Construction (48

L0:CFR 9904.417), should not be used to reduce the overall prenegotiation profit objective.

L0:The profit amount in the negotiation summary of the DD Form 1547 must be net of the

L0:offset.

L1:(ii) This adjustment is needed for the following reason: The values of the profit

L0:factors used in the weighted guidelines method were adjusted to recognize the shift in

L0:facilities capital cost of money from an element of profit to an element of contract cost (see

L0:FAR 31.205-10) and reductions were made directly to the profit factors for performance risk.

L0:In order to ensure that this policy is applied to all DoD contracts that allow facilities capital

L0:cost of money, similar adjustments shall be made to contracts that use alternate structured

L0:approaches.

L0:PGI 215.404-974 Fee requirements for cost-plus-award-fee contracts.

L0:In developing a fee objective for cost-plus-award-fee contracts, the contracting officer

L0:must?

L1:(a) Follow the guidance in FAR 16.402-4 and 216.402-4,

L1:(b) Not use the weighted guidelines method or alternate structured approach,

L1:(c) Apply the offset policy in 215.404-973(b)(2) for facilities capital cost of money, i.e.,

L0:reduce the base fee by the amount of facilities capital cost of money, and

L1:(d) Not complete a DD Form 1547.

L0:PGI 215.404-975 Fee requirements for FFRDCs.

L0:For nonprofit organizations that are FFRDCs?

L1:(a) Consider whether any fee is appropriate. Considerations shall include the

L0:FFRDCs?

L1:(1) Proportion of retained earnings (as established under generally accepted

L0:accounting methods) that relates to DoD contracted effort,

L1:(2) Facilities capital acquisition plans,

L1:(3) Working capital funding as assessed on operating cycle cash needs, and

L1:(4) Provision for funding unreimbursed costs deemed ordinary and necessary to the

L0:FFRDC.

L1:(b) When a fee is considered appropriate, establish the fee objective in accordance with

L0:FFRDC fee policies in the DoD Instruction 5000.77, DoD Federally Funded Research and

L0:Development Center Program.

L1:(c) Do not use the weighted guidelines method or an alternate structured approach.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:PGI 215.404-70 Cost and/or price analysis.

L2:(a)(1) General.

L1:(i) The objective of proposal analysis is to ensure that the final agreed-to price is

L0:fair and reasonable.

L1:(ii) In some cases, supplies or services that are not subject to TINA may require

L0:a cost analysis (see PGI 215.404-2). This will occur when a price analysis is not sufficient

L0:for determining prices to be fair and reasonable. In such cases, the contracting officer

L0:should consider the need for a Defense Contract Audit Agency audit of the cost data.

L1:(iii) Particular attention should be paid to sole source commercial products or

L0:commercial services. While the order of preference at FAR 15.403-1(a) must be followed, if

L0:the contracting officer cannot determine price reasonableness without obtaining data other

L0:than cost or pricing data from the offeror, at a minimum, the contracting officer must obtain

L0:appropriate data on the prices at which the same or similar items have been sold previously

L0:(often previous sales data was the basis of the commercial product or commercial service

L0:determination and must be requested during price analysis of the data provided by the

L0:offeror). If previous sales data is not sufficient to determine price reasonableness, the

L0:contracting officer must obtain ?data other than certified cost or pricing data? and should

L0:perform a cost analysis.

L1:(iv) Analysis of termination proposals, including termination of any contract

L0:scope, should not rely solely on earned value management budgets or estimates for

L0:estimating the costs of all work deleted, or the cost of deleted work already performed

L0:(reference FAR 15.408-2, Table 15-1?Instructions for Submitting Cost/Price Proposals

L0:When Certified Cost or Pricing Data are Required, columns (2) and (3) of section III.B.,

L0:Change Orders, Modifications, and Claims).

L0:PGI 215.405-2 Make-or-buy programs.

L1:(a) Evaluation, negotiation, and Agreement. When a make-or-buy plan is required,

L0:listed below are factors that may be considered when evaluating a submission?

L1:(1) Prime contractor past performance, especially with respect to subcontract

L0:management;

L1:(2) Prime contractor make-or-buy history;

L1:(3) Adequacy of contractor?s existing make-or-buy processes, including cost and
L0:technical risk considerations;

L1:(4) Component availability through existing sources, e.g. available inventory, or
L0:other Government contracts;

L1:(5) Prime contractor plant capacity;

L1:(6) The adequacy of the prime contractor?s technical, financial and personnel
L0:capabilities; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(7) Prime contractor justification that is provided with respect to items it does not
L0:normally make.

L0:PGI 215.405-470 Should-cost review.

L1:(b) Program should-cost review. DoD contracting activities should consider performing
L0:a program should-cost review before award of a definitive contract for a major system as
L0:defined by 234.7001.

L1:(c) Overhead should-cost review.

L1:(1) Contact the Defense Contract Management Agency (DCMA)
L0:(<http://www.dcma.mil/>) for questions on overhead should-cost analysis.

L2:(2)(i) DCMA or the military department responsible for performing contract
L0:administration functions (e.g., Navy SUPSHIP) should consider, based on risk assessment,
L0:performing an overhead should-cost review of a contractor business unit (as defined in FAR
L0:2.101) when all of the following conditions exist:

L1:(A) Projected annual sales to DoD exceed \$1 billion;

L1:(B) Projected DoD versus total business exceeds 30 percent;

L1:(C) Level of sole-source DoD contracts is high;

L1:(D) Significant volume of proposal activity is anticipated;
L0:anticipated; and

L1:(E) Production or development of a major weapon system or program is

L1:(F) Contractor cost control/reduction initiatives appear inadequate.

L1:(ii) The head of the contracting activity may request an overhead should-cost
L0:review for a business unit that does not meet the criteria in paragraph (c)(2)(i) of this
L0:subsection.

L1:(iii) Overhead should-cost reviews are labor intensive. These reviews generally
L0:involve participation by the contracting, contract administration, and contract audit elements.
L0:The extent of availability of military department, contract administration, and contract audit
L0:resources to support DCMA-led teams should be considered when determining whether a
L0:review will be conducted. Overhead should-cost reviews generally should not be conducted
L0:at a contractor business segment more frequently than every 3 years.

L0:PGI 215.406 Data to support proposal analysis.

L1:(a) Field pricing assistance. See PGI 215.406(b) regarding when to request audit
L0:assistance.

L1:(1) The contracting officer should consider requesting field pricing assistance for?

L1:(i) Fixed-price proposals exceeding the certified cost or pricing data threshold,

L1:(ii) Cost-type proposals exceeding the certified cost or pricing data threshold

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:from offerors with material weaknesses, or

L1:(iii) Cost-type proposals exceeding \$10 million from offerors without material

L0:weaknesses.

L1:(2) The contracting officer should not request field pricing support for proposed

L0:contracts or modifications in an amount less than that specified in paragraph (a)(i) of this

L0:subsection. An exception may be made when a reasonable pricing result cannot be

L0:established because of?

L1:(i) A lack of knowledge of the particular offeror, or

L1:(ii) Sensitive conditions (e.g., a change in, or unusual problems with, an

L0:offeror's internal systems).

L1:(b) Audit assistance for prime contracts or subcontracts.

L1:(1) The contracting officer should consider requesting audit assistance from DCAA

L0:for?

L1:(i) Fixed-price proposals exceeding \$10 million,

L1:(ii) Cost-type proposals exceeding \$100 million.

L1:(2) The contracting officer should not request DCAA audit assistance for proposed

L0:contracts or modifications in an amount less than that specified in paragraph (c)(i) of this

L0:subsection unless there are exceptional circumstances explained in the request for audit.

L0:(See PGI 215.406(a) for requesting field pricing assistance without a DCAA audit.)

L1:(3) If, in the opinion of the contracting officer or auditor, the review of a prime

L0:contractor's proposal requires further review of subcontractors' cost estimates at the

L0:subcontractors' plants (after due consideration of reviews performed by the prime

L0:contractor), the contracting officer should inform the administrative contracting officer (ACO)

L0:having cognizance of the prime contractor before the review is initiated.

L1:(4) Notify the appropriate contract administration activities when extensive, special,

L0:or expedited field pricing assistance will be needed to review and evaluate subcontractors?

L0:proposals under a major weapon system acquisition. If audit reports are received on

L0:contracting actions that are subsequently cancelled, notify the cognizant auditor in writing.

L1:(5) Requests for audit assistance for subcontracts should use the same criteria as

L0:established in paragraphs (b)(1) and (b)(2) of this subsection.

L0:PGI 215.408 Documentation.

L0:PGI 215.408-1 Prenegotiation objectives.

L1:(a) The contracting officer should consider the following in establishing prenegotiation

L0:objectives?

L1:(1) Data resulting from application of work measurement systems in developing

L0:prenegotiation objectives; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(2) Field pricing assistance personnel participation in planned prenegotiation and

L0:negotiation activities.

L1:(b) Prenegotiation objectives, including objectives related to disposition of findings and

L0:recommendations contained in preaward and postaward contract audit and other advisory

L0:reports, must be documented and reviewed in accordance with departmental procedures.

L1:(1) Significant Disagreements. (i) Contracting officers and contract auditors have

L0:complementary roles in the contracting process and are expected to collaborate to
 L0:determine fair and reasonable contract values. When a significant disagreement arises on
 L0:questioned costs, the contracting officer and the auditor will discuss the basis of the
 L0:disagreement. Document that discussion and their disagreement in a written
 L0:communication to the auditor. Document the disagreement in the prenegotiation objective
 L0:(or pre-business clearance). The contracting officer may then proceed with negotiations
 L0:when the prenegotiation objectives are approved.

L1:(ii) A significant disagreement is defined as the contracting officer planning to
 L0:sustain less than 75-percent of the total recommended questioned costs in a Defense
 L0:Contract Audit Agency (DCAA) audit report of a contractor proposal for an initial contract or a
 L0:contract modification with a value equal to or greater than \$10 million. It does not apply to
 L0:costs that DCAA has categorized as unsupported or unresolved in its audit report.

L1:(2) Adjudication Procedures. DCAA has 3 days to elevate the issues within the
 L0:contracting officer's activity after receipt of the contracting officer's written communication
 L0:confirming the disagreement. Furthermore, DCAA may appeal the significant issues up the
 L0:chain of command as established in each component's "Resolving Contract Audit
 L0:Recommendations" policy. If issues remain, the Director, DCAA may escalate from the
 L0:Defense component's head of contracting activity or senior procurement executive, to the
 L0:Principal Director, DPCAP. If the DCAA Director believes that the Principal Director, DPCAP
 L0:has not adequately addressed the matter, the disagreement may finally be elevated to the
 L0:Under Secretary of Defense for Acquisition and Sustainment, and the Comptroller.

L1:(3) Notwithstanding the above, the Director, DCAA, may always raise audit issues to
 L0:the Principal Director, DPCAP.

L1:(c) Cost estimates for program baselines and contract negotiations for major defense
 L0:acquisition programs.

L1:(1) For the purpose of contract negotiations and obligation of funds under this
 L0:paragraph, the Government will prepare cost analyses and targets based on the
 L0:Government's reasonable expectation of successful contractor performance in accordance
 L0:with the contractor's proposal and previous experience.

L1:(2) Cost estimates developed for baseline descriptions and other program purposes
 L0:by the Director of Cost Assessment and Program Evaluation pursuant to its functions, do not
 L0:meet the criteria described in paragraph (c)(1) of this section and, thus, must not be used for
 L0:purposes of developing the Government's contract negotiation position or for the obligation
 L0:of funds. However, the Government may consider the data used to develop such estimates
 L0:when developing the cost analyses and targets described in paragraph (c)(1) of this
 L0:subsection.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15
 L0:Defense FAR Supplement (DFARS) Part 215
 L0:PGI 215.408-2 Documenting the negotiation.

L2:(a)(1) Include the principal factors related to the disposition of findings and
 L0:recommendations contained in preaward and postaward contract audit and other advisory
 L0:reports. Use "CUI" markings as appropriate, in accordance with www.dodcui.mil.

L1:(2) The documentation for fee or profit negotiated must include?

L1:(i) Significant deviations from the prenegotiation profit objective;

L1:(ii) The DD Form 1547, Record of Weighted Guidelines Application (see PGI

L0:215.404-970), if used, with supporting rationale;

L1:(iii) Rationale for not using the weighted guidelines method when its use would

L0:otherwise be required by DFARS 215.404-970; and

L1:(3) Ensure the approved prenegotiation and postnegotiation noncompetitive

L0:business clearance documents (e.g., price negotiation memoranda) are uploaded into the

L0:Contract Business Analysis Repository (CBAR) at <https://piee.eb.mil> for the purpose of

L0:sharing negotiation experience with other contracting officers preparing to negotiate. This

L0:includes both noncompetitive actions using the procedures at FAR part 12, Acquisition of

L0:Commercial Products and Commercial Services, as well as noncompetitive actions using

L0:the procedures at FAR part 15, Contracting by Negotiation, that are valued in excess of \$25

L0:million and awarded on or after June 24, 2013 (and for all definitized or awarded actions

L0:over \$100 million, which occurred on or after October 1, 2012).

L1:(i) Business clearance documents uploaded to CBAR must be marked "CUI"

L0:(see www.dodcui.mil).

L1:(ii) The business clearance documents uploaded to CBAR must be signed by

L0:the contracting officer and include all other signatures required by local policy/procedure.

L1:(iii) Upload the documentation to CBAR no later than 30 days after award of the

L0:contract action associated with the negotiation and include both the prenegotiation

L0:objectives required by FAR 15.408-1 and PGI 215.408-1, and the record of negotiations (i.e.

L0:the Price Negotiation Memoranda required by FAR 15.408-2 and PGI 215.408-2).

L0:Complete the ?description of acquisition? field with keywords and searchable terms to

L0:identify the products and services acquired. Also complete the ?comments? field of the

L0:CBAR record to summarize unique features and aspects of the negotiation in order to

L0:prompt other contracting teams to inquire further to learn from their peers? prior experience.

L1:(iv) If an initial indefinite-delivery indefinite-quantity (IDIQ) task or delivery order

L0:contract contemplates issuance of task or delivery orders that will invoke negotiated rates or

L0:values from the basic contract, then the business clearance record for the basic IDIQ

L0:contract shall be uploaded if the estimated value of the contract (e.g. ceiling price) exceeds

L0:the prescribed dollar threshold. To the extent individual task or delivery orders entail a

L0:negotiation (i.e. did not simply incorporate prices established at the basic contract level), a

L0:business clearance record for the individual task or delivery orders that exceed the

L0:prescribed dollar thresholds shall be uploaded to CBAR.

L1:(v) Training for the CBAR database may be found at

L0:<https://pieetraining.eb.mil/wbt/xhtml/wbt/eda/cbar/overview.xhtml>.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:PGI 215.470 Estimated data prices.

L2:(b)(i) The form and the provision included in the solicitation request the offeror to state

L0:what portion of the total price is estimated to be attributable to the production or

L0:development of the listed data for the Government (not to the sale of rights in the data).

L0:However, offerors' estimated prices may not reflect all such costs; and different offerors may

L0:reflect these costs in a different manner, for the following reasons?

L1:(A) Differences in business practices in competitive situations;

L1:(B) Differences in accounting systems among offerors;

L1:(C) Use of factors or rates on some portions of the data;

L1:(D) Application of common effort to two or more data items; and

L1:(E) Differences in data preparation methods among offerors.

L1:(ii) Data price estimates should not be used for contract pricing purposes without
L0:further analysis.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:1

L0:2

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L0:51

L0:52

L0:53

L0:PGI 253.215 - Contracting by negotiation.

L0:PGI 253.215-70 - DD Form 1547, Record of Weighted Guidelines Application

L1:(a) Use the DD Form 1547 as prescribed in DFARS 215.404-970 and PGI 215.404-970.

L1:(b) General instructions.

L1:(1) Report amounts as they relate to the price of the contract action without regard

L0:to funding status (e.g., amounts obligated).

L1:(2) Express all dollar values to the nearest whole value (e.g., \$200,008.55 =

L0:\$200,009).

L1:(3) Do not express percentages beyond the nearest thousandth (e.g., interest rate--

L0:8.257%).

L1:(4) Reserved.

L1:(5) Report an option amount for additional quantities as a separate contract action

L0:when exercised.

L1:(6) Even though fixed-price type contract actions are negotiated on the basis of total

L0:price, prepare the negotiation summary portion of the DD Form 1547 showing the

L0:contracting officer's best estimates of cost and profit.

L1:(7) For indefinite-delivery type contracts, prepare a consolidated DD Form 1547 for

L0:annual requirements expected to exceed the certified cost or pricing data threshold.

L1:(8) Prepare a consolidated DD Form 1547, if possible, when multiple profit rates

L0:apply to a single negotiation.

L1:(c) Specific instructions for completion of DD Form 1547.

L1:(1) BLOCK 1--REPORT NO. Enter the four-digit local control number followed by a

L0:dash and the last two digits of the fiscal year (e.g., 0004-06 for 4th action in fiscal year

L0:2006). Each field contracting office participating in profit reporting shall establish a control

L0:system for consecutively numbering completed DD Forms 1547. Always start with 0001 at

L0:the beginning of each fiscal year and always use four digits. This number will identify the
L0:specific DD Form 1547 in DoD's management information system and will be used for
L0:follow-up actions.

L1:(2) BLOCK 2--BASIC PROCUREMENT INSTRUMENT IDENTIFICATION NO.

L0:Enter the identifying contract number, or Procurement Instrument Identifier (PIID), assigned
L0:per PGI 204.201.

L1:(3) BLOCK 3--SPIIN. Enter the supplementary PIIDs for supplemental agreements
L0:or other modifications, assigned per PGI 204.201.

L1:(4) BLOCK 4--DATE OF ACTION.

L1:(i) Year. Enter the last two digits of the year the action was negotiated (e.g., 06
L0:for 2006).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L1:(ii) Month. Enter the two-digit number for the month the action was negotiated
L0:(e.g., 09 for September).

L1:(5) BLOCK 5--CONTRACTING OFFICE CODE. Enter the code assigned the
L0:contracting office per DoD Procurement Coding Manual, Volume III.

L1:(6) BLOCK 6--NAME OF CONTRACTOR. Enter the contractor's name (including
L0:division name).

L1:(7) BLOCK 7--UNIQUE ENTITY IDENTIFIER. Enter the contractor UEI.

L1:(8) BLOCK 8--FEDERAL SUPPLY CODE.

L1:(9) BLOCK 9--DOD CLAIMANT PROGRAM.

L1:(10) BLOCK 10--CONTRACT TYPE CODE. Enter the appropriate code?

L0:Description

L0:Code

L0:FPR (all types)

L0:FPI (all types)

L0:FFP

L0:FP(E)

L0:CPFF

L0:CPIF (all types)

L0:A

L0:L

L0:J

L0:K

L0:U

L0:V

L1:(11) BLOCK 11--TYPE EFFORT. Enter the appropriate code?

L0:Description

L0:Code

L0:Manufacturing

L0:Research and

L0:Development

L0:Services

L0:1

L0:2

L0:3

L1:(12) BLOCK 12--USE CODE. Enter the appropriate code for use of the weighted

L0:guidelines method?

L0:Description

L0:Standard weighted guidelines method (PGI 215.404-

L0:971(b)(3)(i)

L0:Alternate structured approach (PGI 215.404-973)

L0:Modified weighted guidelines approach (PGI 215.404-972)

L0:Technology incentive (PGI 215.404-971(b)(3)(ii))

L0:Code

L0:2

L0:4

L0:5

L0:6

L1:(13) BLOCKS 13 through 20--COST CATEGORY OBJECTIVE. Enter the

L0:prenegotiation objectives. Include contractor independent research and development/bid

L0:54

L0:55

L0:56

L0:57

L0:58

L0:59

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L0:80

L0:81

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 15

L0:Defense FAR Supplement (DFARS) Part 215

L0:and proposal in the general and administrative expenses in Block 19.

L1:(14) BLOCKS 21 through 29--WEIGHTED GUIDELINES PROFIT FACTORS.

L0:Enter the amounts determined in accordance with PGI 215.404-971 or 215.404-972. This

L0:section is not required to be completed when using an alternate structured approach (PGI

L0:215.404-973).

L1:(15) BLOCK 30--TOTAL PROFIT OBJECTIVE. Enter the total of Blocks 23, 24, 25,

L0:27, 28, and 29. This section is not required to be completed when using an alternate

L0:structured approach (PGI 215.404-973).

L1:(16) BLOCKS 31 through 35--NEGOTIATION SUMMARY. Complete as indicated

L0:on the form. For fixed-price type contracts negotiated on a total price basis, enter the

L0:contracting officer's best estimates of cost and profit. When using an alternate structured

L0:approach, see PGI 215.404-973(b)(2) for offsets.

L1:(17) BLOCKS 36 through 39--CONTRACTING OFFICER APPROVAL. The

L0:contracting officer shall sign the form. Include a complete (with area code) commercial

L0:telephone number to facilitate any follow-up actions.

L1:(18) BLOCKS 96 through 99--OPTIONAL USE. Complete in accordance with

L0:department/agency procedures, if any.

L0:82

L0:83

L0:84

L0:85

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L0:95

L0:96

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L0:99

L0:100

L0:101

L0:102

L0:103

L0:104

L0:105

PART 16

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

216.101 Policies

Status: active

L0:216.101 Policies.

L0:Do not use a cost-reimbursement line item for the acquisition of production of major
L0:defense acquisition programs, unless the exception at 234.7202(b)(2) applies. (Section
L0:811 of the National Defense Authorization Act for Fiscal Year 2013 (Pub. L. 112-239))

216.102 Negotiating contract type

Status: active

L0:216.102 Negotiating contract type.

L0:See PGI 216.102 for selecting and negotiating the most appropriate contract type for a
L0:given procurement.

216.102-70 Research and development

Status: active

L0:216.102-70 Research and development.

L0:Follow the procedures at PGI 216.102-70 for selecting the appropriate research and
L0:development contract type. See 235.170 for additional requirements when selecting
L0:contract type.

216.203 Fixed-price contracts with economic price adjustment

Status: active

L0:216.203 Fixed-price contracts with economic price adjustment.

216.203-4 Contract clauses

Status: active

L0:216.203-4 Contract clauses.

L1:(1) Insert the clauses at FAR 52.216-2, Economic Price Adjustment?Standard
L0:Supplies, FAR 52.216-3, Economic Price Adjustment?Semistandard Supplies, and

L0:FAR 52.216-4, Economic Price Adjustment?Labor and Material, only when?

L1:(i) The total contract price exceeds the simplified acquisition threshold; and

L1:(ii) Delivery or performance will not be completed within 6 months after

L0:contract award.

L1:(2) Follow the procedures at PGI 216.203-4 when inserting an economic price

L0:adjustment clause based on cost indexes of labor or material.

216.203-470 Additional provisions and clauses

Status: active

L0:216.203-470 Additional provisions and clauses.

L1:(a) Price adjustment for basic steel, aluminum, brass, bronze, or copper mill

L0:products.

L2:(1)(i) Contracting officers may insert the price adjustment clause at 252.216-

L0:7000, Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper

L0:Mill Products, in fixed-price supply solicitations and contracts for basic steel, aluminum,

L0:brass, bronze, or copper mill products, such as sheets, plates, and bars, when an

L0:established catalog or market price exists for the particular product being acquired.

L1:(ii) Do not exceed the 10 percent figure in paragraph (d)(1) of the clause

L0:unless approved at a level above the contracting officer.

L1:(2) Insert the price adjustment provision at 252.216-7007, Economic Price

L0:Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L0:Representation, in solicitations that include the clause at 252.216-7000, Economic Price

L0:Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products.

L1:(b) Price adjustment for nonstandard steel items.

L1:(1) The contracting officer may insert the price adjustment clause at 252.216-

L0:7001, Economic Price Adjustment?Nonstandard Steel Items, in fixed-price supply

L0:contracts when?

L1:(i) The contractor is a steel producer and actually manufacturers the

L0:standard steel mill item referred to in the ?base steel index? definition of the clause; and

L1:(ii) The items being acquired are nonstandard steel items made wholly or in

L0:part of standard steel mill items.

L1:(2) When this clause is included in invitations for bids, remove Note 6 of the

L0:clause and all references to Note 6.

L1:(3) Instruct offerors to complete all blanks in accordance with the applicable

L0:notes.

L1:(4) Verify the price, when the clause is to provide for adjustment on a basis

L0:other than ?established price? (see Note 6 of the clause).

L1:(5) Do not exceed the 10 percent figure in paragraph (e)(4) of the clause unless

L0:approved at a level above the contracting officer.

L1:(c) Price adjustment for wage rates or material prices controlled by a foreign

L0:government.

L2:(1)(i) Contracting officers may insert the price adjustment clause at 252.216-
L0:7003, Economic Price Adjustment?Wage Rates or Material Prices Controlled by a
L0:Foreign Government, in fixed-price supply and service solicitations and contracts
L0:when?
L0:country; and
L1:(A) The contract is to be performed wholly or in part in a foreign
L1:(B) A foreign government controls wage rates or material prices and
L0:may, during contract performance, impose a mandatory change in wages or prices of
L0:material.
L1:(ii) Verify the base wage rates and material prices prior to contract award
L0:and prior to making any adjustment in the contract price.
L1:(2) Insert the provision at 252.216-7008, Economic Price Adjustment-Wage
L0:Rates or Material Prices Controlled by a Foreign Government?Representation, in
L0:solicitations that include the clause at 252.216-7003, Economic Price Adjustment-Wage
L0:Rates or Material Prices Controlled by a Foreign Government. If the solicitation
L0:includes the provision at FAR 52.204-7, do not separately list the provision 252.216-
L0:7008 in the solicitation.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16
L0:Defense FAR Supplement (DFARS) Part 216

216.301-3 Limitations

Status: active

L0:216.301-3 Limitations.
L0:For contracts in connection with a military construction project or a military family
L0:housing project, contracting officers must not use cost-plus-fixed-fee, cost-plus-award-
L0:fee, or cost-plus-incentive-fee contract types (10 U.S.C 3323). This applies
L0:notwithstanding a declaration of war or the declaration by the President of a national
L0:emergency under section 201 of the National Emergencies Act (50 U.S.C. 1621) that
L0:includes the use of the Armed Forces.

216.304 Cost-plus-fixed-fee contracts

Status: active

L0:216.304 Cost-plus-fixed-fee contracts.

216.304-2 Limitations

Status: active

L0:216.304-2 Limitations.
L0:For contracts in connection with a military construction project or military family
L0:housing project, see the prohibition at 216.301-3.
L1:(1) Except as provided in paragraph (2) of this section, annual military

L0:construction appropriations acts prohibit the use of cost-plus-fixed-fee contracts that?

L1:(i) Are funded by a military construction appropriations act;

L1:(ii) Are estimated to exceed \$25,000; and

L1:(iii) Will be performed within the United States, except Alaska.

L1:(2) The prohibition in paragraph (1) of this section does not apply to a contract if

L0:it is specifically approved in writing. That written approval must explain the reasons

L0:for granting an exception and follow the approval process described below:

L1:(i) The Secretaries of the military departments are authorized to approve

L0:such contracts that are for environmental work only, provided the environmental work

L0:is not classified as construction, as defined by 10 U.S.C. 2801.

L1:(ii) The Secretary of Defense or designee must approve such contracts that

L0:are not for environmental work only or are for environmental work classified as

L0:construction.

216.305 Contract clauses

Status: active

L0:216.305 Contract clauses.

L1:(a) As required by section 827 of the National Defense Authorization Act for

L0:Fiscal Year 2013 (Pub. L. 112-239), insert the clause at 252.216-7009, Allowability

L0:of Costs Incurred in Connection With a Whistleblower Proceeding?

L2:(1) (A) In task orders entered pursuant to contracts awarded before

L0:September 30, 2013, that include the clause at FAR 52.216-7, Allowable Cost and

L0:Payment; and

L1:(B) In contracts awarded before September 30, 2013, that?

L1:(1) Include the clause at FAR 52.216-7, Allowable Cost and

L0:Payment; and

L1:(2) Are modified to include the clause at DFARS 252.203-7002,

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L0:Requirement to Inform Employees of Whistleblower Rights, dated September 2013

L0:or later.

216.401 General

Status: active

L0:216.401 General.

216.401-1 Description

Status: active

L0:216.401-1 Description.

L1:(c) See PGI 216.401-1(c) for information on incentive contracts.

216.401-2 Limitations

Status: active

L0:216.401-2 Limitations.

L0:The determination and findings justifying that the use of an incentive- or award-fee

L0:contract is in the best interest of the Government, may be signed by the head of

L0:contracting activity but no lower than?

L1:(1) One level below the head of the contracting activity for award-fee contracts;

L0:or

L1:(2) One level above the contracting officer for incentive-fee contracts.

216.401-71 Objective criteria

Status: active

L0:216.401-71 Objective criteria.

L1:(a) Use objective criteria to the maximum extent possible to measure contract

L0:performance. Objective criteria are associated with cost-plus-incentive-fee and fixed-

L0:price-incentive contracts.

L1:(b) When objective criteria exist but the contracting officer determines that it is in

L0:the best interest of the Government to also incentivize subjective elements of

L0:performance, the most appropriate contract type is a multiple-incentive contract

L0:containing both objective incentives and subjective award-fee criteria (i.e., cost-plus-

L0:incentive-fee/award-fee or fixed-price-incentive/award-fee).

L1:(c) See PGI 216.402-2(c) for guidance on the use of award-fee contracts.

216.402 Award fee

Status: active

L0:216.402 Award fee.

216.402-2 Limitations

Status: active

L0:216.402-2 Limitations.

L1:(c) Award-fee plans required in FAR 16.402-2(c) must be incorporated into all

L0:award-fee type contracts. Follow the procedures at PGI 216.402-2(c) when planning to

L0:award an award-fee contract.

216.402-4 Cost-plus-award-fee contracts

Status: active

L0:216.402-4 Cost-plus-award-fee contracts.

L1:(1) Award-fee pool. The award-fee pool is the total available award fee for each

L0:evaluation period for the life of the contract. The contracting officer must perform an
L0:analysis of appropriate fee distribution to ensure at least 40 percent of the award fee is
L0:available for the final evaluation so that the award fee is appropriately distributed over
L0:all evaluation periods to incentivize the contractor throughout performance of the
L0:contract. The percentage of award fee available for the final evaluation may be set
L0:below 40 percent if the contracting officer determines that a lower percentage is
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16
L0:Defense FAR Supplement (DFARS) Part 216
L0:appropriate and obtains the head of the contracting activity (HCA) approval. The HCA
L0:approval is not delegable.

L1:(2) Award-fee evaluation and payments. Award-fee payments other than
L0:payments resulting from the evaluation at the end of an award-fee period are
L0:prohibited. This prohibition does not apply to base-fee payments. Provide the fee-
L0:determining official's rating for award-fee evaluations to the contractor within 45
L0:calendar days of the end of the evaluation period. The final award-fee payment will be
L0:consistent with the fee-determining official's final evaluation of the contractor's overall
L0:performance against the cost, schedule, and performance outcomes specified in the
L0:award-fee plan.

L1:(3) Limitations.

L1:(i) The cost-plus-award-fee contract must not be used?

L1:(A) To avoid?

L0:cost-plus-fixed-fee contracts apply; or

L1:(1) Establishing cost-plus-fixed-fee contracts when the criteria for
L0:can be used; or

L1:(2) Developing objective targets so a cost-plus-incentive-fee contract

L1:(B) For either engineering development or operational system
L0:development acquisitions that have specifications suitable for simultaneous research
L0:and development and production. A contracting officer may use a cost-plus-award-fee
L0:contract for individual engineering development or operational system development
L0:acquisitions ancillary to the development of a major weapon system or equipment,
L0:where?

L1:(1) It is more advantageous; and
L0:specific problems associated with the major weapon system or equipment.

L1:(2) The purpose of the acquisition is clearly to determine or solve

L1:(ii) Do not apply the weighted guidelines method to cost-plus-award-fee
L0:contracts for either the base (fixed) fee or the award fee.

L1:(iii) The base fee must not exceed three percent of the estimated cost of the
L0:contract exclusive of the fee.

L1:(4) See PGI 216.402-4 for guidance on the use of cost-plus-award-fee contracts.

216.402-470 Award fee reduction or denial for jeopardizing the health or

Status: active

L0:216.402-470 Award fee reduction or denial for jeopardizing the health or

L0:safety of Government personnel.

L1:(a) Definitions. As used in this section?

L0:Covered incident? and ?serious bodily injury,? are defined in the clause at 252.216-

L0:7004, Award Fee Reduction or Denial for Jeopardizing the Health or Safety of

L0:Government Personnel.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L1:(b) The contracting officer must include in the evaluation criteria of any award-fee

L0:plan, a review of contractor and subcontractor actions that jeopardized the health or

L0:safety of Government personnel, through gross negligence or reckless disregard for the

L0:safety of such personnel, as determined through?

L1:(1) Conviction in a criminal proceeding, or finding of fault and liability in a civil

L0:or administrative proceeding (in accordance with section 823 of the National Defense

L0:Authorization Act (NDAA) for Fiscal Year (FY) 2010 (Pub. L. 111-84)); or

L1:(2) If a contractor or a subcontractor at any tier is not subject to the jurisdiction

L0:of the U.S. courts, a final determination of contractor or subcontractor fault resulting

L0:from a DoD investigation (in accordance with section 834 of the NDAA for FY 2011

L0:(Pub. L. 111-383)).

L1:(c) In evaluating the contractor?s performance under a contract that includes the

L0:clause at 252.216-7004, Award Fee Reduction or Denial for Jeopardizing the Health or

L0:Safety of Government Personnel, the contracting officer must consider reducing or

L0:denying award fees for a period, if contractor or subcontractor actions cause serious

L0:bodily injury or death of civilian or military Government personnel during such period.

L0:The contracting officer?s evaluation must consider recovering all or part of award fees

L0:previously paid for such period.

216.402-471 Award fee reduction or denial for failure to comply with

Status: active

L0:216.402-471 Award fee reduction or denial for failure to comply with

L0:requirements relating to performance of private security functions.

L1:(a) In accordance with section 862 of the NDAA for FY 2008, and section 831 of the

L0:NDAA for FY 2011, include a requirement to review contractor compliance with, or

L0:violation of, applicable requirements of the contract in any award-fee plan with regard

L0:to the performance of private security functions in an area of contingency operations,

L0:complex contingency operations, or other military operations or exercises that are

L0:designated by the combatant commander (see PGI 225.770).

L1:(b) In evaluating the contractor?s performance under a contract that includes the

L0:clause at 252.225-7039, Defense Contractors Performing Private Security Functions

L0:Outside the United States, the contracting officer must consider reducing or denying

L0:award fees for a period if the contractor fails to comply with the requirements of the

L0:clause during such period. The contracting officer?s evaluation also must consider

L0:recovering all or part of award fees previously paid for such period.

216.402-472 Contract clauses

Status: active

L0:216.402-472 Contract clauses.

L0:Insert the clause at 252.216-7004, Award Fee Reduction or Denial for Jeopardizing the

L0:Health or Safety of Government Personnel, in all solicitations and contracts containing

L0:award-fee provisions.

216.402-473 Other applications of award fees

Status: active

L0:216.402-473 Other applications of award fees.

L0:See PGI 216.402-473 for guidance on other applications of award fees.

216.403 Application of predetermined, formula-type incentives

Status: active

L0:216.403 Application of predetermined, formula-type incentives.

216.403-2 Performance incentives

Status: active

L0:216.403-2 Performance incentives.

L1:(1) See PGI 216.403-2 for guidance on establishing performance incentives.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L1:(2) Contracting officers must ensure requirements for the payment of

L0:incentive fees or the imposition of penalties are included in the solicitation for the

L0:engineering and manufacturing development or production of a weapon system,

L0:including embedded software, if the program manager or comparable requiring

L0:activity official exercising program manager responsibilities includes?

L1:(i) Provisions for the payment of incentive fees based on achievement of

L0:design specification requirements for reliability and maintainability of weapons

L0:systems under the contract; or

L1:(ii) The imposition of penalties to be paid by the contractor to the

L0:Government for failure to achieve such design specification requirements

L0:(10 U.S.C. 4328).

216.404 Fixed-price incentive contracts

Status: active

L0:216.404 Fixed-price incentive contracts.

216.404-170 Fixed-price incentive (firm target) contracts

Status: active

L0:216.404-170 Fixed-price incentive (firm target) contracts.

L0:See PGI 215.404-170 for guidance on the selection and use of fixed-price incentive (firm target) contracts.

216.404-2 Fixed-price incentive (successive targets) contracts

Status: active

L0:216.404-2 Fixed-price incentive (successive targets) contracts.

L0:See PGI 216.404-2 for guidance on the use of fixed-price incentive (successive targets) contracts.

216.405 Cost-plus-incentive-fee contracts

Status: active

L0:216.405 Cost-plus-incentive-fee contracts.

L0:See PGI 216.405 for guidance on the use of cost-plus-incentive-fee contracts.

216.500 Scope

Status: active

L0:216.500 Scope.

L2:(d)(i) When awarding task orders or delivery orders for architect-engineer services under a multiple-award contract, follow the procedures for the selection of contractors and placement of orders at FAR 36.102 to implement 10 U.S.C. 3406(h)(1).
L1:(ii) Contracting officers must not request additional information related to contractor qualifications, unless it is necessary to determine the most highly qualified contractor for the particular task order or delivery order (10 U.S.C. 3406(h)(2)).

216.501 General

Status: active

L0:216.501 General.

216.501-270 Policies

Status: active

L0:216.501-270 Policies.

L2:(a)(i) For items with a shelf-life of less than six months, consider the use of indefinite-delivery type contracts with orders to be placed either?

L1:(A) Directly by the users; or
L1:(B) By central purchasing offices with deliveries direct to users.
L1:(ii) Whenever an indefinite-delivery contract is issued, the issuing office
L0:must furnish all ordering offices sufficient information for the ordering office to
L0:complete its contract reporting responsibilities under 204.301. This data must be
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16
L0:Defense FAR Supplement (DFARS) Part 216
L0:furnished to the ordering activity in sufficient time for the activity to prepare its report
L0:for the action within three working days of the order.
L1:(b) See 217.201-71(a) for limitations on the period for task order or delivery order
L0:contracts awarded by DoD pursuant to 10 U.S.C. 3403.

216.504 Indefinite-quantity contracts

Status: active

L0:216.504 Indefinite-quantity contracts.

216.504-3 Multiple award preference

Status: active

L0:216.504-3 Multiple award preference.
L3:(a)(4)(i) The senior procurement executive has the authority to make the
L0:determination authorized in FAR 16.504-3(a)(4)(i).
L1:(A) In accordance with 10 U.S.C. 3403(d)(3), when making the
L0:determination at FAR 16.504-3(a)(4)(i)(A), the senior procurement executive must
L0:determine that the task or delivery orders expected under the contract are so
L0:integrally related that only a single source can ?efficiently perform the work,?
L0:instead of ?reasonably perform the work? as required by the FAR.
L3:(a)(4)(ii) The congressional notification requirement at FAR 16.504-
L0:3(a)(4)(ii) does not apply to DoD.
L3:(a)(4)(iii) In accordance with 10 U.S.C. 3403(d)(3), the determination at
L0:FAR 16.504-3(a)(4)(iii) is not required if a justification has been executed, in
L0:accordance with FAR 6.104 and section 206.104.

216.505 Solicitation provisions and contract clauses

Status: active

L0:216.505 Solicitation provisions and contract clauses.

216.505-70 Additional solicitation provisions and contract clause

Status: active

L0:216.505-70 Additional solicitation provisions and contract clause.
L1:(a) Insert the provisions at 252.215-7007, Notice of Intent to Resolicit, and 252.215-7008, Only One Offer, as prescribed at 215.271-6 and 215.110(3), respectively.
L1:(b) Insert the clause at 252.216-7010, Postaward Debriefings for Task Orders and Delivery Orders, in competitive negotiated solicitations and contracts, including solicitations and contracts using FAR part 12 procedures for the acquisition of commercial products and commercial services, when a multiple-award contract is contemplated and task orders or delivery orders placed under the contract may be valued at \$10 million or more.

216.506-70 Postaward procedures for placement of task and delivery orders

Status: active

L0:216.506-70 Postaward procedures for placement of task and delivery orders.

216.506-701 Orders placed under indefinite-delivery contracts may be issued on DD

Status: active

L0:216.506-701 Orders placed under indefinite-delivery contracts may be issued on DD Form 1155, Order for Supplies or Services.

216.506-702 Departments and agencies must comply with the review, approval, and

Status: active

L0:216.506-702 Departments and agencies must comply with the review, approval, and reporting requirements established in accordance with subpart 217.6 when placing orders under non-DoD contracts in amounts exceeding the simplified acquisition threshold.

216.506-703 See 204.7603 for procedures on the required use of the Supplier

Status: active

L0:216.506-703 See 204.7603 for procedures on the required use of the Supplier Performance Risk System (SPRS) risk assessments.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16
L0:Defense FAR Supplement (DFARS) Part 216
L1:(i) The contracting officer must ensure SPRS assessments of price risk and supplier risk are considered as a part of the award decision.
L1:(ii) When placing an order for an end product identified by a material identifier that is available as described at PGI 204.7603, and item risk was not previously considered during award of the contract, the contracting officer must also consider SPRS assessments of item risk in the award decision.

L1:(iii) Insert the provision at 252.204-7024, Notice on the Use of the Supplier
L0:Performance Risk System, as prescribed in 204.7604 to the extent permitted by the
L0:contract.

216.507 Additional ordering procedures for multiple-award contracts

Status: active

L0:216.507 Additional ordering procedures for multiple-award contracts.

216.507-2 Fair opportunity procedures

Status: active

L0:216.507-2 Fair opportunity procedures.
L1:(A) See 215.103-270 for the limitations and prohibitions on the use of the
L0:lowest price technically acceptable source selection process, which are applicable to
L0:orders placed against multiple award indefinite delivery contracts.
L1:(B) See 217.870 for the prohibition on the use of reverse auctions for
L0:personal protective equipment and aviation critical safety items.

216.507-5 Orders valued above \$7.5 million

Status: active

L0:216.507-5 Orders valued above \$7.5 million
L1:(c) Postaward notices and debriefing. In addition to the notice required by FAR
L0:part 15 and 16.507-5(c), a written or oral postaward debriefing of successful and
L0:unsuccessful awardees is required for task orders and delivery orders valued at \$10
L0:million or more (section 818 of the National Defense Authorization Act for Fiscal Year
L0:2018 (Pub. L. 115-91)).
L1:(ii) Follow the procedures at 215.301-1 and 215.301-270 when providing the
L0:postaward debriefing to successful and unsuccessful awardees for task orders or
L0:delivery orders valued at \$10 million or more.

216.507-6 Exceptions to fair opportunity

Status: active

L0:216.507-6 Exceptions to fair opportunity.
L1:(b) Exceptions. For an order exceeding the simplified acquisition threshold, that
L0:is a follow-on to an order previously issued for the same supply or service based on a
L0:justification for an exception to fair opportunity citing the authority at FAR 16.507-
L0:6(b)(2) or (3), follow the procedures at PGI 216.507-6(b).

216.507-70 Orders under multiple award contracts

Status: active

L0:216.507-70 Orders under multiple award contracts.

L1:(a) If only one offer is received in response to an order exceeding the simplified

L0:acquisition threshold that is placed on a competitive basis, the contracting officer must

L0:follow the procedures at 215.271-6.

L1:(b) See PGI 216.507-7 for guidance regarding minimum labor category

L0:qualifications for orders issued under multiple-award services contracts.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

216.601 Time-and-materials contracts

Status: active

L0:216.601 Time-and-materials contracts.

216.601-370 Limitations

Status: active

L0:216.601-370 Limitations.

L2:(a)(1) Approval of determination and findings for time-and-materials or labor-hour

L0:contracts.

L1:(i) Base period plus any option periods is three years or less.

L1:(A) For contracts (including indefinite-delivery contracts) and orders in

L0:which the portion of the requirement performed on a time-and-materials or labor-hour

L0:basis exceeds \$1 million, the approval authority for the determination and findings

L0:must be the senior contracting official within the contracting activity. This authority

L0:may not be delegated.

L1:(B) For contracts (including indefinite-delivery contracts) and orders in

L0:which the portion of the requirement performed on a time-and-materials or labor-hour

L0:basis is less than or equal to \$1 million, the determination and findings must be

L0:approved one level above the contracting officer.

L1:(ii) Base period plus any option periods exceeds three years. The head of the

L0:contracting activity is the authority to approve the determination and findings. This

L0:authority may not be delegated.

L1:(iii) Exception. The approval requirements in paragraphs (a)(1)(i) of this

L0:section do not apply to contracts that, as determined by the head of the contracting

L0:activity?

L0:or

L1:(A) Support contingency or humanitarian or peacekeeping operations;

L0:nuclear, biological, chemical or radiological attack;

L1:(B) Facilitate defense against or recovery from conventional, cyber,

L1:(C) Facilitate the provision of international disaster assistance; or

L1:(D) Support response to an emergency or major disaster.

L1:(2) Content of determination and findings. The determination and findings
L0:must contain sufficient facts and rationale to justify that no other contract type is
L0:suitable. At a minimum, the determination and findings must?

L1:(i) Include a description of the market research conducted;

L1:(ii) Establish that it is not possible at the time of placing the contract or
L0:order to accurately estimate the extent or duration of the work or to anticipate costs
L0:with any reasonable degree of certainty;

L1:(iii) Address why a cost-plus-fixed-fee term or other cost-reimbursement,
L0:incentive, or fixed-price contract or order is not appropriate; for contracts (including
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16
L0:Defense FAR Supplement (DFARS) Part 216
L0:indefinite-delivery contracts) and orders for other than commercial products or
L0:commercial services awarded to contractors with adequate accounting systems, a cost-
L0:plus-fixed-fee term contract type must be preferred over a time-and-materials or labor-
L0:hour contract type;

L1:(iv) Establish that the requirement has been structured to minimize the use
L0:of time-and-materials and labor-hour requirements (e.g., limiting the value or length of
L0:the time-and-materials or labor-hour portion of the contract or order; establishing fixed
L0:prices for portions of the requirement); and

L1:(v) Describe the actions planned to minimize the use of time-and-materials
L0:and labor-hour contracts on future acquisitions for the same requirements.

L1:(3) Indefinite-delivery contracts. For indefinite-delivery contracts, structure
L0:contracts that authorize time-and-materials orders to also authorize orders on a cost-
L0:reimbursement, incentive, or fixed-price basis, to the maximum extent practicable.

216.601-4 Solicitation provisions

Status: active

L0:216.601-4 Solicitation provisions.

L1:(a) Insert the provision at FAR 52.216-29, Time-and-Materials/Labor-Hour
L0:Proposal Requirements?Other Than Commercial Acquisition with Adequate Price
L0:Competition, with 252.216-7002, Alternate A, in solicitations contemplating the use
L0:of a time-and-materials or labor-hour contract type for other than commercial
L0:products or commercial services if the price is expected to be based on adequate
L0:competition.

216.603 Letter contracts

Status: active

L0:216.603 Letter contracts.

216.603-2 Application

Status: active

L0:216.603-2 Application.

L1:(c) In accordance with 10 U.S.C. 3372, establish definitization schedules for letter

L0:contracts following the requirements at 217.7404-3(a) instead of the requirements at

L0:FAR 16.603-2(c).

216.603-3 Limitations

Status: active

L0:216.603-3 Limitations.

L0:See Subpart 217.74 for additional limitations on the use of letter contracts.

216.603-4 Contract clauses

Status: active

L0:216.603-4 Contract clauses.

L2:(b)(2) See 217.7405(a) for additional guidance regarding use of the clause at FAR

L0:52.216-24, Limitation of Government Liability.

L1:(3) Insert the clause at 252.217-7027, Contract Definitization, in accordance

L0:with its prescription at 217.7406(b), instead of the clause at FAR 52.216-25, Contract

L0:Definitization.

216.703 Basic ordering agreements

Status: active

L0:216.703 Basic ordering agreements.

216.703-3 Limitations

Status: active

L0:216.703-3 Limitations.

L0:The period during which orders may be placed against a basic ordering agreement may

L0:not exceed 5 years.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L1:(d) Follow the procedures at PGI 216.703-3(d) for issuing orders under basic

L0:ordering agreements.

252.216-7000 Economic Price Adjustment?Basic Steel, Aluminum, Brass,

Status: active

L0:252.216-7000 Economic Price Adjustment?Basic Steel, Aluminum, Brass,
L0:Bronze, or Copper Mill Products.

L0:As prescribed in 216.203-470(a)(1), use the following clause:

**L0:ECONOMIC PRICE ADJUSTMENT?BASIC STEEL, ALUMINUM, BRASS,
L0:BRONZE, OR COPPER MILL PRODUCTS (JAN 2023)**

L1:(a) Definitions. As used in this clause?

L0:?Established price? means a price which is an established catalog or market price for

L0:a commercial product sold in substantial quantities to the general public.

L0:?Unit price? excludes any part of the price which reflects requirements for

L0:preservation, packaging, and packing beyond standard commercial practice.

L1:(b) As represented by the Contractor in its offer, the unit price stated for

L0:_____ (Identify the item) is not in excess of the Contractor's established

L0:price in effect on the date set for opening of bids (or the contract date if this is a

L0:negotiated contract) for like quantities of the same item. This price is the net price after

L0:applying any applicable standard trade discounts offered by the Contractor from its

L0:catalog, list, or schedule price.

L1:(c) The Contractor shall promptly notify the Contracting Officer of the amount and

L1:(1) Each corresponding contract unit price shall be decreased by the same

L0:percentage that the established price is decreased.

L1:(2) This decrease shall apply to items delivered on or after the effective date of

L0:the decrease in the Contractor's established price.

L1:(3) This contract shall be modified accordingly.

L1:(d) If the Contractor's established price is increased after the date set for opening of

L0:bids (or the contract date if this is a negotiated contract), upon the Contractor's written

L0:request to the Contracting Officer, the corresponding contract unit price shall be

L0:increased by the same percentage that the established price is increased, and this

L0:contract shall be modified accordingly, provided?

L1:(1) The aggregate of the increases in any contract unit price under this contract

L0:shall not exceed 10 percent of the original contract unit price;

L1:(2) The increased contract unit price shall be effective on the effective date of the

L0:increase in the applicable established price if the Contractor's written request is

L0:received by the Contracting Officer within ten days of the change. If it is not, the

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L0:Contracting Officer; and

L1:(3) The increased contract unit price shall not apply to quantities scheduled for

L0:delivery before the effective date of the increased contract unit price unless the

L0:Contractor's failure to deliver before that date results from causes beyond the control

L0:and without the fault or negligence of the Contractor, within the meaning of the Default

L0:clause of this contract.

L1:(4) The Contracting Officer shall not execute a modification incorporating an

L0:increase in a contract unit price under this clause until the increase is verified.

L1:(e) Within 30 days after receipt of the Contractor's written request, the Contracting

L0:Officer may cancel, without liability to either party, any portion of the contract affected

L0:by the requested increase and not delivered at the time of such cancellation, except as follows?

L1:(1) The Contractor may, after that time, deliver any items that were completed

L0:or in the process of manufacture at the time of receipt of the cancellation notice,

L0:provided the Contractor notifies the Contracting Officer of such items within 10 days

L0:after the Contractor receives the cancellation notice.

L1:(2) The Government shall pay for those items at the contract unit price

L0:increased to the extent provided by paragraph (d) of this clause.

L1:(3) Any standard steel supply item shall be deemed to be in the process of

L0:manufacture when the steel for that item is in the state of processing after the

L0:beginning of the furnace melt.

L1:(f) Pending any cancellation of this contract under paragraph (e) of this clause, or if

L0:there is no cancellation, the Contractor shall continue deliveries according to the

L0:delivery schedule of the contract. The Contractor shall be paid for those deliveries at the

L0:contract unit price increased to the extent provided by paragraph (d) of this clause.

L0:(End of clause)

252.216-7001 Economic Price Adjustment-Nonstandard Steel Items

Status: active

L0:252.216-7001 Economic Price Adjustment-Nonstandard Steel Items.

L0:As prescribed in 216.203-470(b), use the following clause:

L0:ECONOMIC PRICE ADJUSTMENT?NONSTANDARD STEEL ITEMS (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?Base labor index? means the average of the labor indices for the three months

L0:which consist of the month of bid opening (or offer submission) and the months

L0:immediately preceding and following that month.

L0:?Base steel index? means the Contractor's established price (see Note 6) including all

L0:applicable extras of \$_____ per _____ (see Note 1) for _____ (see

L0>Note 2) on the date set for bid opening (or the date of submission of the offer).

L0:?Current labor index? means the average of the labor indices for the month in which

L0:delivery of supplies is required to be made and the month preceding.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L0:?Current steel index? means the Contractor's established price (see Note 6) for that

L0:item, including all applicable extras in effect ____ days (see Note 3) prior to the first day

L0:of the month in which delivery is required.

L0:?Established price? is?

L1:(1) A price which is an established catalog or market price of a commercial

L0:product sold in substantial quantities to the general public; and

L1:(2) The net price after applying any applicable standard trade discounts offered

L0:by the Contractor from its catalog, list, or schedule price. (But see Note 6.)

L0:?Labor index? means the average straight time hourly earnings of the Contractor's

L0:employees in the _____ shop of the Contractor's _____ plant (see

L0:Note 4) for any particular month.

L0:Month? means calendar month. However, if the Contractor's accounting period does not coincide with the calendar month, then that accounting period shall be used in lieu of month.?

L1:(b) Each contract unit price shall be subject to revision, under the terms of this clause, to reflect changes in the cost of labor and steel. For purpose of this price revision, the proportion of the contract unit price attributable to costs of labor not otherwise included in the price of the steel item identified under the base steel index? definition in paragraph (a) shall be ____ percent, and the proportion of the contract unit price attributable to the cost of steel shall be ____ percent. (See Note 5.)

L2:(c)(1) Unless otherwise specified in this contract, the labor index shall be computed by dividing the total straight time earnings of the Contractor's employees in the shop identified in paragraph (a) for any given month by the total number of straight time hours worked by those employees in that month.

L1:(2) Any revision in a contract unit price to reflect changes in the cost of labor shall be computed solely by reference to the base labor index? and the current labor index.?

L1:(d) Any revision in a contract unit price to reflect changes in the cost of steel shall be computed solely by reference to the base steel index? and the current steel index.?

L2:(e)(1) Each contract unit price shall be revised for each month in which delivery of supplies is required to be made.

L1:(2) The revised contract unit price shall apply to the deliveries of those quantities required to be made in that month regardless of when actual delivery is made.

L1:(3) Each revised contract unit price shall be computed by adding?

L1:(i) The adjusted cost of labor (obtained by multiplying ____ percent of the contract unit price by a fraction, of which the numerator shall be the current labor index and the denominator shall be the base labor index);

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L1:(ii) The adjusted cost of steel (obtained by multiplying ____ percent of the contract unit price by a fraction, of which the numerator shall be the current steel index and the denominator shall be the base steel index); and

L1:(iii) The amount equal to ____ percent of the original contract unit price (representing that portion of the unit price which relates neither to the cost of labor nor the cost of steel, and which is therefore not subject to revision (see Note 5)).

L1:(4) The aggregate of the increases in any contract unit price under this contract shall not exceed ten percent of the original contract unit price.

L1:(5) Computations shall be made to the nearest one-hundredth of one cent.

L2:(f)(1) Pending any revisions of the contract unit prices, the Contractor shall be paid the contract unit price for deliveries made.

L1:(2) Within 30 days after final delivery (or such other period as may be authorized by the Contracting Officer), the Contractor shall furnish a statement identifying the correctness of?

L1:(i) The average straight time hourly earnings of the Contractor's employees

L0:in the shop identified in paragraph (a) that are relevant to the computations of the

L0:base labor index? and the ?current labor index;? and

L1:(ii) The Contractor's established prices (see Note 6), including all applicable

L0:extras for like quantities of the item that are relevant to the computation of the ?base

L0:steel index? and the ?current steel index.?

L1:(3) Upon request of the Contracting Officer, the Contractor shall make available

L0:all records used in the computation of the labor indices.

L1:(4) Upon receipt of the statement, the Contracting Officer will compute the

L0:revised contract unit prices and modify the contract accordingly. No modification to this

L0:contract will be made pursuant to this clause until the Contracting Officer has verified

L0:the revised established price (see Note 6).

L2:(g)(1) In the event any item of this contract is subject to a total or partial termination

L0:for convenience, the month in which the Contractor receives notice of the termination, if

L0:prior to the month in which delivery is required, shall be considered the month in which

L0:delivery of the terminated item is required for the purposes of determining the current

L0:labor and steel indices under paragraphs (c) and (d).

L1:(2) For any item which is not terminated for convenience, the month in which

L0:delivery is required under the contract shall continue to apply for determining those

L0:indices with respect to the quantity of the non-terminated item.

L1:(3) If this contract is terminated for default, any price revision shall be limited to

L0:the quantity of the item which has been delivered by the Contractor and accepted by the

L0:Government prior to receipt by the Contractor of the notice of termination.

L1:(h) If the Contractor's failure to make delivery of any required quantity arises out of

L0:causes beyond the control and without the fault or negligence of the Contractor, within

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L0:the meaning of the clause of this contract entitled ?Default,? the quantity not delivered

L0:shall be delivered as promptly as possible after the cessation of the cause of the failure,

L0:and the delivery schedule set forth in this contract shall be amended accordingly.

L0:NOTES:

L0:1 Offeror insert the unit price and unit measure of the standard steel mill item to be

L0:used in the manufacture of the contract item.

L0:2 Offeror identify the standard steel mill item to be used in the manufacture of the

L0:contract item.

L0:3 Offeror insert best estimate of the number of days required for processing the

L0:standard steel mill item in the shop identified under the ?labor index? definition.

L0:4 Offeror identify the shop and plant in which the standard steel mill item identified

L0:under the ?base steel index? definition will be finally fabricated or processed into the

L0:contract item.

L0:5 Offeror insert the same percentage figures for the corresponding blanks in

L0:paragraphs (b), (e)(3)(i), and (e)(3)(ii). In paragraph (e)(3)(iii), insert the percentage

L0:representing the difference between the sum of the percentages inserted in paragraph

L1:(b) and 100 percent.

L0:6 In negotiated acquisitions of nonstandard steel items, when there is no ?established

L0:price? or when it is not desirable to use this price, this paragraph may refer to another

L0:appropriate price basis, e.g., an established interplant price.

L0:(End of clause)

252.216-7002 Alternate A, Time-and-Materials/Labor-Hour Proposal

Status: active

L0:252.216-7002 Alternate A, Time-and-Materials/Labor-Hour Proposal

L0:Requirements-Other Than Commercial Acquisition with Adequate Price

L0:Competition.

L0:As prescribed in 216.601-4(a), substitute the following paragraph (c) for paragraph (c) of

L0:the provision at FAR 52.216-29:

L0:ALTERNATE A, TIME-AND-MATERIALS/LABOR-HOUR PROPOSAL

L0:REQUIREMENTS?OTHER THAN COMMERCIAL ACQUISITION WITH

L0:ADEQUATE PRICE COMPETITION (JAN 2023)

L1:(c) The offeror must establish fixed hourly rates using separate rates for each category

L0:of labor to be performed by each subcontractor and for each category of labor to be

L0:performed by the offeror, and for each category of labor to be transferred between

L0:divisions, subsidiaries, or affiliates of the offeror under a common control.

252.216-7003 Economic Price Adjustment?Wage Rates or Material Prices

Status: active

L0:252.216-7003 Economic Price Adjustment?Wage Rates or Material Prices

L0:Controlled by a Foreign Government.

L0:As prescribed in 216.203-470(c)(1), use the following clause:

L0:ECONOMIC PRICE ADJUSTMENT?WAGE RATES OR MATERIAL PRICES

L0:CONTROLLED BY A FOREIGN GOVERNMENT (MAR 2012)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L1:(a) As represented by the Contractor in its offer, the prices set forth in this

L0:contract?

L1:(1) Are based on the wage rate(s) or material price(s) established and controlled

L0:by the government of the country specified by the Contractor in its offer; and

L1:(2) Do not include contingency allowances to pay for possible increases in wage

L0:rates or material prices.

L1:(b) If wage rates or material prices are revised by the government named in

L0:paragraph (a) of this clause, the Contracting Officer shall make an equitable

L0:adjustment in the contract price and shall modify the contract to the extent that the

L0:Contractor?s actual costs of performing this contract are increased or decreased, as a

L0:direct result of the revision, subject to the following:

L1:(1) For increases in established wage rates or material prices, the increase in

L0:contract unit price(s) shall be effective on the same date that the government named in

L0:paragraph (a) of this clause increased the applicable wage rate(s) or material price(s),

L0:but only if the Contracting Officer receives the Contractor?s written request for contract
 L0:adjustment within 10 days of the change. If the Contractor?s request is received later,
 L0:the effective date shall be the date that the Contracting Officer received the
 L0:Contractor?s request.

L1:(2) For decreases in established wage rates or material prices, the decrease in
 L0:contract unit price(s) shall be effective on the same date that the government named in
 L0:paragraph (a) of this clause decreased the applicable wage rate(s) or material price(s).
 L0:The decrease in contract unit price(s) shall apply to all items delivered on and after the
 L1:(c) No modification changing the contract unit price(s) shall be executed until the
 L0:Contracting Officer has verified the applicable change in the rates or prices set by the
 L0:government named in paragraph (a) of this clause. The Contractor shall make available
 L0:its books and records that support a requested change in contract price.
 L1:(d) Failure to agree to any adjustment shall be a dispute under the Disputes clause
 L0:of this contract.
 L0:(End of clause)

252.216-7004 Award Fee Reduction or Denial for Jeopardizing the Health or

Status: active

L0:252.216-7004 Award Fee Reduction or Denial for Jeopardizing the Health or
 L0:Safety of Government Personnel.
 L0:As prescribed in 216.402-472, use the following clause:

L0:AWARD FEE REDUCTION OR DENIAL FOR JEOPARDIZING THE HEALTH OR L0:SAFETY OF GOVERNMENT PERSONNEL (SEP 2011)

L1:(a) Definitions. As used in this clause?
 L0:?Covered incident?-

L1:(i) Means any incident in which the Contractor, through a criminal, civil, or
 L0:administrative proceeding that results in a disposition listed in paragraph (a) (ii) of this
 L0:definition?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16
 L0:Defense FAR Supplement (DFARS) Part 216

L1:(A) Has been determined in the performance of this contract to have caused
 L0:serious bodily injury or death of any civilian or military personnel of the Government
 L0:through gross negligence or with reckless disregard for the safety of such personnel; or
 L1:(B) Has been determined to be liable for actions of a subcontractor of the
 L0:Contractor that caused serious bodily injury or death of any civilian or military
 L0:personnel of the Government through gross negligence or with reckless disregard for
 L0:the safety of such personnel.

L1:(ii) Includes those incidents that have resulted in any of the following
 L0:dispositions:

L1:(A) In a criminal proceeding, a conviction.
 L1:(B) In a civil proceeding, a finding of fault or liability that results in the
 L0:payment of a monetary fine, penalty, reimbursement, restitution, or damage of \$5,000
 L0:or more.

L1:(C) In an administrative proceeding, a finding of fault and liability that
L0:results in?
L0:of \$100,000.
L1:(1) The payment of a monetary fine or penalty of \$5,000 or more; or
L1:(2) The payment of a reimbursement, restitution, or damages in excess
L1:(D) In a criminal, civil, or administrative proceeding, a disposition of the
L0:matter by consent or compromise with an acknowledgment of fault by the Contractor if
L0:the proceeding could have led to any of the outcomes specified in subparagraphs
L3:(a)(ii)(A), (a) (ii)(B), or (a)(ii)(C).
L1:(E) In a DoD investigation of the Contractor or its subcontractors at any tier
L0:not subject to the jurisdiction of the U.S. courts, a final determination by the Secretary
L0:of Defense of Contractor or subcontractor fault (see DFARS 216.402-470).
L0:?'Serious bodily injury?' means a grievous physical harm that results in a permanent
L0:disability.
L1:(b) If, in the performance of this contract, the Contractor?s or its subcontractor?s
L0:actions cause serious bodily injury or death of civilian or military Government
L0:personnel, the Government may reduce or deny the award fee for the relevant award
L0:fee period in which the covered incident occurred, including the recovery of all or part of
L0:any award fees paid for any previous period during which the covered incident occurred.

252.216-7005 Reserved

Status: active

L0:252.216-7005 Reserved.

252.216-7006 Reserved

Status: active

L0:252.216-7006 Reserved
L0:(End of clause)

252.216-7007 Economic Price Adjustment?Basic Steel, Aluminum, Brass,

Status: active

L0:252.216-7007 Economic Price Adjustment?Basic Steel, Aluminum, Brass,
L0:Bronze, or Copper Mill Products?Representation.
L0:As prescribed in 216.203-470(a)(2), use the following provision:
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16
L0:Defense FAR Supplement (DFARS) Part 216
L0:ECONOMIC PRICE ADJUSTMENT?BASIC STEEL, ALUMINUM, BRASS,
L0:BRONZE, OR COPPER MILL PRODUCTS?REPRESENTATION
L0:(MAR 2012)
L1:(a) Definitions. The terms ?established price? and ?unit price,? as used in this

L0:provision, have the meaning given in the clause 252.216-7000, Economic Price
L0:Adjustment--Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products.
L1:(b) By submission of its offer, the offeror represents that the unit price stated in this
L0:offer for _____ (Identify the item) is not in excess of the offeror's
L0:established price in effect on the date set for opening of bids (or the contract date if this
L0:is to be a negotiated contract) for like quantities of the same item. This price is the net
L0:price after applying any applicable standard trade discounts offered by the offeror from
L0:its catalog, list, or schedule price.
L0:(End of provision)

252.216-7008 Economic Price Adjustment?Wage Rates or Material Prices

Status: active

L0:252.216-7008 Economic Price Adjustment?Wage Rates or Material Prices
L0:Controlled by a Foreign Government?Representation.
L0:As prescribed in 216.203-470(c)(2), use the following provision:
L0:ECONOMIC PRICE ADJUSTMENT?WAGE RATES OR MATERIAL PRICES
L0:CONTROLLED BY A FOREIGN GOVERNMENT?REPRESENTATION
L0:(MAR 2012)
L1:(a) By submission of its offer, the offeror represents that the prices set forth in this
L0:offer?
L1:(1) Are based on the wage rate(s) or material price(s) established and controlled
L0:by the government of _____ (Offeror insert name of host country);
L0:and
L1:(2) Do not include contingency allowances to pay for possible increases in wage
L0:rates or material prices.
L0:(End of provision)

252.216-7009 Allowability of Legal Costs Incurred in Connection with a

Status: active

L0:252.216-7009 Allowability of Legal Costs Incurred in Connection with a
L0:Whistleblower Proceeding.
L0:As prescribed in 216.305, use the following clause:
L0:ALLOWABILITY OF LEGAL COSTS INCURRED IN CONNECTION WITH A
L0:WHISTLEBLOWER PROCEEDING (DEC 2022)
L0:Pursuant to 10 U.S.C. 3750, notwithstanding FAR clause 52.216-7, Allowable Cost and
L0:Payment?
L1:(a) The restrictions of FAR 31.205-47(b) on allowability of costs related to legal and
L0:other proceedings also apply to any proceeding brought by a contractor employee
L0:submitting a complaint under 10 U.S.C. 4701, entitled "Contractor employees:
L0:protection from reprisal for disclosure of certain information;" and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L1:(b) Costs incurred in connection with a proceeding that is brought by a contractor

L0:employee submitting a complaint under 10 U.S.C. 4701 are also unallowable if the

L0:result is an order to take corrective action under 10 U.S.C. 4701.

L0:(End of clause)

252.216-7010 Postaward Debriefings for Task Orders and Delivery Orders

Status: active

L0:252.216-7010 Postaward Debriefings for Task Orders and Delivery Orders.

L0:As prescribed at 216.505-70, use the following clause:

L0:POSTAWARD DEBRIEFINGS FOR TASK ORDERS AND DELIVERY ORDERS

L0:(OCT 2025)

L1:(a) Postaward debriefing.

L1:(1) Upon timely request, the Government will provide a written or oral

L0:postaward debriefing for task orders or delivery orders valued at \$15 million or more to

L0:the Contractor, regardless of whether the Contractor's offer for the task order or

L0:delivery order was successful or unsuccessful, while protecting the confidential and

L0:proprietary information of other contractors. The request is considered timely if

L0:received within 3 days of notification of task order or delivery order award.

L1:(2) If a required postaward debriefing is provided?

L1:(i) The debriefed Contractor may submit additional written questions

L0:related to the required and provided debriefing within 2 business days after the date of

L0:the debriefing;

L1:(ii) The agency will respond in writing to timely submitted additional

L0:questions within 5 business days after receipt; and

L1:(iii) The postaward debriefing will not be considered to be concluded until

L0:the later of?

L0:writing; or

L1:(A) The date that the postaward debriefing is delivered, orally or in

L0:received, the date the agency delivers its written response.

L1:(B) If additional written questions related to the debriefing are timely

L1:(b) Task order or delivery order performance. The Government may suspend

L0:performance of or terminate the awarded task order or delivery order upon notice from

L0:the Government Accountability Office of a protest filed within the time periods listed in

L0:paragraphs (b)(1) through (3) of this clause, whichever is later:

L1:(1) Within 10 days after the date a task order or delivery order is issued, where

L0:the value exceeds \$25 million (10 U.S.C. 3406(e)).

L1:(2) Within 5 days after a debriefing date offered to the protestor under a timely

L0:debriefing request in accordance with Federal Acquisition Regulation (FAR) 15.506

L0:unless an earlier debriefing date is negotiated as a result.

L1:(3) Within 5 days after a postaward debriefing under FAR 15.506 is concluded in

L0:accordance with Defense Federal Acquisition Regulation Supplement 215.506-70(b).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L0:PGI 216?TYPES OF CONTRACTS

L0:PGI 216.1?SELECTING CONTRACT TYPES

L0:PGI 216.102 Negotiating contract type.

L0:Follow the procedures in the Director, Defense Procurement and Acquisition Policy

L0:memorandum dated April 1, 2016, entitled ?Guidance on Using Incentive and Other Contract

L0:Types,? when selecting and negotiating the most appropriate contract type for a given

L0:procurement.

L0:PGI 216.102-70 Research and development.

L1:(1) General. There are several categories of research and development (R&D)

L0:contracts: research, exploratory development, advanced development, engineering

L0:development, and operational systems development (see DFARS 235.001 for the definition

L0:of research and development). Each category has a primary technical or functional

L0:objective. Different parts of a project may fit several categories. The contract type must fit

L0:the work required, not just the classification of the overall program.

L1:(2) Research and exploratory development.

L1:(i) Price is not necessarily the primary factor in determining the contract type.

L1:(ii) The nature of the work to be performed will usually result in a cost-plus award

L0:fee, cost-plus fixed fee term, cost-no-fee, or cost-sharing contract.

L1:(iii) If the Government and the contractor can identify and agree upon the level of

L0:contractor effort required, the contracting officer may select a firm fixed-price level-of-effort

L0:contract, except see DFARS 235.170.

L1:(iv) If the Government and the contractor agree that an incentive arrangement is

L0:desirable and capable of being evaluated after completion of the work, the contracting officer

L0:may use an incentive type contract.

L1:(3) Advanced development.

L1:(i) The nature of the work to be performed often results in a cost-plus fixed fee

L0:completion type contract.

L1:(ii) Contracting officers may select incentive contracts if?

L1:(A) Realistic and measurable targets are identified; and

L1:(B) Achievement of those targets is predictable with a reasonable degree of

L0:accuracy.

L1:(iii) Contracting officers should not use contracts with only cost incentives where?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L1:(A) There will be a large number of major technical changes; or

L1:(B) Actions beyond the control of the contractor may influence the contractor's

L0:achievement of cost targets.

L1:(4) Engineering development and operational systems development.

L1:(i) When selecting contract types, also consider?

L1:(A) The degree to which the project is clearly defined, which in turn affects the

L0:contractor's ability to provide accurate cost estimates;

L1:(B) The need for effort that will overlap that of earlier stages;

L1:(C) The need for firm technical direction by the Government; and

L1:(D) The degree of configuration control the Government will exercise.

L1:(ii) For development efforts, particularly for major defense systems, the preferred

L0:contract type is cost reimbursement.

L1:(iii) Contracting officers should use fixed-price type contracts when risk has been

L0:reduced to the extent that realistic pricing can occur; e.g., when a program has reached the

L0:final stages of development and technical risks are minimal, except see DFARS 235.170.

L0:PGI 216.2?FIXED-PRICE CONTRACTS

L0:PGI 216.203 Fixed-price contracts with economic price adjustment.

L0:PGI 216.203-4 Contract clauses.

L0:Contracting officers should use caution when incorporating Economic Price Adjustment

L1:(EPA) provisions in contracts. EPA provisions can result in significant and unanticipated

L0:price increases which can have major adverse impacts to a program. EPA provisions

L0:should be used only when general economic factors make the estimating of future costs too

L0:unpredictable within a fixed-price contract. The primary factors that should be considered

L0:before using an EPA provision include volatility of labor and/or material costs and contract

L0:length. In cases where cost volatility and/or contract length warrant using an EPA provision,

L0:the provision must be carefully crafted to ensure an equitable adjustment to the contract.

L0:Accordingly, contracting officers should always request assistance from their local pricing

L0:office, the Defense Contract Management Agency, or the Defense Contract Audit Agency

L0:when contemplating the use of an EPA provision.

L0:For adjustments based on cost indexes of labor or material, use the following guidelines:

L1:(1) Do not make the clause unnecessarily complex.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L1:(2) Normally, the clause should not provide either a ceiling or a floor for adjustment

L0:unless adjustment is based on indices below the six-digit level of the Bureau of Labor

L0:Statistics (BLS)?

L1:(i) Producer Price Index;

L1:(ii) Employment Cost Index for wages and salaries, benefits, and compensation

L0:costs for aerospace industries (but see paragraphs (3) and (6) of this subsection); or

L1:(iii) North American Industry Classification System (NAICS) Code.

L1:(3) DoD contracting officers may no longer use the BLS employment cost index for total

L0:compensation, aircraft manufacturing (NAICS Code 336411, formerly Standard Industrial

L0:Classification Code 3721, Aircraft) in any EPA clause in DoD contracts. This index is

L0:ineffective for use as the basis for labor cost adjustments in EPA clauses in DoD contracts.

L0:The BLS employment cost index for wages and salaries, aircraft manufacturing may still

L0:be used in EPA clauses for labor costs. If a BLS index for benefits is desired, contracting

L0:officers should use a broader based index that will smooth the effects of any large pension

L0:contributions, such as the employment cost index for benefits, total private industry. If a total

L0:compensation index is desired, contracting officers should consider the creation of a hybrid

L0:index by combining the above referenced indices at a predetermined percentage. For

L0:example, a hybrid total compensation index could consist of 68 percent employment cost

L0:index for wages and salaries, aircraft manufacturing, and 32 percent of the employment cost

L0:index for benefits, private industry.

L1:(4) Normally, the clause should cover potential economic fluctuations within the original

L0:contract period of performance using a trigger band. Unless the economic fluctuation

L0:exceeds the trigger value, no EPA clause adjustments are made.

L1:(5) The clause must accurately identify the index(es) upon which adjustments will be

L0:based.

L1:(i) It must provide for a means to adjust for appropriate economic fluctuation in the

L0:event publication of the movement of the designated index is discontinued. This might

L0:include the substitution of another index if the time remaining would justify doing so and an

L0:appropriate index is reasonably available, or some other method for repricing the remaining

L0:portion of work to be performed.

L1:(ii) Normally, there should be no need to make an adjustment if computation of the

L0:identified index is altered. However, it may be appropriate to provide for adjustment of the

L0:economic fluctuation computations in the event there is such a substantial alteration in the

L0:method of computing the index that the original intent of the parties is negated.

L1:(iii) When an index to be used is subject to revision (e.g., the BLS Producer Price

L0:Indexes), the EPA clause must specify that any economic price adjustment will be based on

L0:a revised index and must identify which revision to the index will be used.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L1:(6) The basis of the index should not be so large and diverse that it is significantly

L0:affected by fluctuations not relevant to contract performance, but it must be broad enough to

L0:minimize the effect of any single company, including the anticipated contractor(s).

L1:(7) Construction of an index is largely dependent upon three general series published by

L0:the U.S. Department of Labor, BLS. These are the?

L1:(i) Industrial Commodities portion of the Producer Price Index;

L1:(ii) Employment Cost Index for wages and salaries, benefits, and compensation

L0:costs for aerospace industries (but see paragraphs (3) and (6) of this subsection); and

L1:(iii) NAICS Code.

L1:(8) Normally, do not use more than two indices, i.e., one for labor and one for material.

L1:(9) The clause must establish and properly identify a base period comparable to the

L0:contract periods for which adjustments are to be made as a reference point for application of

L0:an index.

L1:(10) The clause should not provide for an adjustment beyond the original contract

L0:performance period, including options. The start date for the adjustment may be the

L0:beginning of the contract or a later time, as appropriate, based on the projected rate of

L0:expenditures.

L1:(11) The expenditure profile for both labor and material should be based on a

L0:predetermined rate of expenditure (expressed as the percentage of material or labor usage

L0:as it relates to the total contract price) in lieu of actual cost incurred.

L1:(i) If the clause is to be used in a competitive acquisition, determine the labor and

L0:material allocations, with regard to both mix of labor and material and rate of expenditure by

L0:percentage, in a manner which will, as nearly as possible, approximate the average

L0:expenditure profile of all companies to be solicited so that all companies may compete on an

L0:equal basis.

L1:(ii) If the clause is to be used in a noncompetitive acquisition, the labor and material

L0:allocations may be subject to negotiation and agreement.

L1:(iii) For multiyear contracts, establish predetermined expenditure profile tables for

L0:each of the annual increments in the multiyear buy. Each of the second and subsequent

L0:year tables must be cumulative to reflect the total expenditures for all increments funded

L0:through the latest multiyear funding.

L1:(12) The clause should state the percentage of the contract price subject to price

L0:adjustment.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L1:(i) Normally, do not apply adjustments to the profit portion of the contract.

L1:(ii) Examine the labor and material portions of the contract to exclude any areas that

L0:do not require adjustment. For example, it may be possible to exclude?

L1:(A) Subcontracting for short periods of time during the early life of the contract

L0:which could be covered by firm-fixed-priced subcontracting;

L1:(B) Certain areas of overhead, e.g., depreciation charges, prepaid insurance

L0:costs, rental costs, leases, certain taxes, and utility charges;

L1:(C) Labor costs for which a definitive union agreement exists; and

L1:(D) Those costs not likely to be affected by fluctuation in the economy.

L1:(iii) Allocate that part of the contract price subject to adjustment to specific periods of

L0:time (e.g., quarterly, semiannually, etc.) based on the most probable expenditure or

L0:commitment basis (expenditure profile).

L1:(13) The clause should provide for definite times or events that trigger price

L0:adjustments. Adjustments should be frequent enough to afford the contractor appropriate

L0:economic protection without creating a burdensome administrative effort. The adjustment

L0:period should normally range from quarterly to annually.

L1:(14) When the contract contains cost incentives, any sums paid to the contractor on

L0:account of EPA provisions must be subtracted from the total of the contractor's allowable

L0:costs for the purpose of establishing the total costs to which the cost incentive provisions

L0:apply. If the incentive arrangement is cited in percentage ranges, rather than dollar ranges,

L0:above and below target costs, structure the EPA clause to maintain the original contract

L0:incentive range in dollars.

L1:(15) The EPA clause should provide that once the labor and material allocations and the

L0:portion of the contract price subject to price adjustment have been established, they remain

L0:fixed through the life of the contract and must not be modified except in the event of

L0:significant changes in the scope of the contract. The clause should state that pricing actions

L0:pursuant to the Changes clause or other provisions of the contract will be priced as though

L0:there were no provisions for economic price adjustment. However, subsequent

L0:modifications may include a change to the delivery schedule or significantly change the

L0:amount of, or mix of, labor or material for the contract. In such cases, it may be appropriate

L0:to prospectively apply EPA coverage. This may be accomplished by?

L1:(i) Using an EPA clause that applies only to the effort covered by the modification;

L1:(ii) Revising the baseline data or period in the EPA clause for the basic contract to

L0:include the new work; or

L1:(iii) Using an entirely new EPA clause for the entire contract, including the new work.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L1:(16) Consistent with the factors in paragraphs (1) through (15) of this subsection, it may

L0:also be appropriate to provide in the prime contract for similar EPA arrangements between

L0:the prime contractor and affected subcontractors to allocate risks properly and ensure that

L0:those subcontractors are provided similar economic protection.

L1:(17) When EPA clauses are included in contracts that do not require submission of

L0:certified cost or pricing data as provided for in FAR 15.403-2, the contracting officer must

L0:obtain adequate data to establish the baseline from which adjustments will be made. The

L0:contracting officer may require verification of the data submitted to the extent necessary to

L0:permit reliance upon the data as a reasonable baseline.

L0:PGI 216.4?INCENTIVE CONTRACTS

L0:PGI 216.401 General.

L0:PGI 216.401-1 Description.

L1:(c) Incentive contracts. See the DPCAP Price, Cost, and Finance ?Pricing Topics?

L0:webpage at <https://www.acq.osd.mil/asda/dpc/pcf/pricing-topics.html> for links to contract

L0:incentives training, tools, and a guidebook.

L0:PGI 216.402 Award fee.

L0:PGI 216.402-2 Limitations.

L1:(c) Award-fee contracts.

L1:(i) It is DoD policy to utilize objective criteria, whenever possible, to measure

L0:contract performance. In cases where an award-fee contract must be used due to lack of

L0:objective criteria, the contracting officer must consult with the program manager and the fee

L0:determining official when developing the award-fee plan. Award-fee criteria must be linked

L0:directly to contract cost, schedule, and performance outcomes objectives.

L1:(ii) Award fees must be tied to identifiable interim outcomes, discrete events or

L0:milestones, as much as possible. Examples of such interim milestones include timely

L0:completion of preliminary design review, critical design review, and successful system

L0:demonstration. In situations where there may be no identifiable milestone for a year or

L0:more, consideration should be given to apportioning some of the award fee pool for a

L0:predetermined interim period of time based on assessing progress toward milestones. In

L0:any case, award fee provisions must clearly explain how a contractor?s performance will be

L0:evaluated.

L1:(iii) The head of the contracting activity for each defense agency must retain the

L0:D&F for (a) all acquisition category (ACAT) I or II programs, and (b) all non-ACAT I or II

L0:contracts with an estimated value of \$50 million or more. The head of the contracting activity

L0:must forward the D&Fs for ACAT I programs to Defense Pricing, Contracting, and

L0:Acquisition Policy/Contract Policy directorate (DPCAP/CP) within 1 month of the end of the

L0:quarter. Copies of D&Fs on all contracts must also be included in the contract file.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L0:PGI 216.402-4 Cost-plus-award-fee contracts.

L1:(1) Although weighted guidelines do not apply per DFARS 216.402-4(3)(ii) when

L0:definitizing a contract action, the contracting officer must, nevertheless, separately assess

L0:and document the reduced cost risk on the contract for?

L1:(i) The period up to the date of definitization; as well as

L1:(ii) The remaining period of performance (see DFARS 217.7404-6).

L1:(2) Normally, award fee is not earned when the fee-determining official has determined

L0:that contractor performance has been submarginal or unsatisfactory.

L1:(3) The basis for all award fee determinations must be documented in the contract file.

L1:(4) The cost-plus-award-fee contract is also suitable for level of effort contracts where

L0:mission feasibility is established but measurement of achievement must be by subjective

L0:evaluation rather than objective measurement. See Table 16-1, Performance Evaluation

L0:Criteria, for sample performance evaluation criteria and Table 16-2, Contractor Performance

L0:Evaluation Report, for a sample evaluation report.

L1:(5) The contracting activity may?

L1:(i) Establish a board to?

L1:(A) Evaluate the contractor's performance; and

L1:(B) Determine the amount of the award or recommend an amount to the

L0:contracting officer; and

L1:(ii) Afford the contractor an opportunity to present information on its own behalf.

L0:PGI 216.402-473 Other applications of award fees.

L0:The ?award amount? portion of the fee may be used in other types of contracts under the

L0:following conditions:

L1:(1) The Government wishes to motivate and reward a contractor for?

L1:(i) Purchase of capital assets (including machine tools) manufactured in the United

L0:States, on major defense acquisition programs; or

L1:(ii) Management performance in areas which cannot be measured objectively and

L0:where normal incentive provisions cannot be used. For example, logistics support, quality,

L0:timeliness, ingenuity, and cost effectiveness are areas under the control of management

L0:which may be susceptible only to subjective measurement and evaluation.

L1:(2) The ?base fee? (fixed amount portion) is not used.

L1:(3) The chief of the contracting office approves the use of the ?award amount.?

L1:(4) An award review board and procedures are established for conduct of the

L0:evaluation.

L1:(5) The administrative costs of evaluation do not exceed the expected benefits.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L0:TABLE 16-1, PERFORMANCE EVALUATION CRITERIA

L0:A

L0:Time of

L0:Delivery.

L1:(A-1)

L0:Adherence to

L0:plan

L0:schedule.

L0:Submarginal Marginal

L0:Consistently

L0:late on 20%

L0:plans

L0:Late on 10%

L0:plans w/o

L0:prior

L0:agreement

L0:Good

L0:Occasional

L0:plan late w/o

L0:justification.

L0:Very Good

L0:Meets plan

L0:schedule.

L1:(A-2)

L0:Action on

L0:Anticipated

L0:delays.

L1:(A-3)

L0:Plan Main-

L0:tenance.

L0:B

L0:Quality of

L0:Work.

L1:(B-1)

L0:Work

L0:Appearance.

L0:Does not

L0:expose

L0:changes or

L0:resolve them

L0:as soon as

L0:recognized.

L0:Exposes

L0:changes but

L0:is dilatory in

L0:resolution on

L0:plans.

L0:Does not

L0:complete

L0:interrelated

L0:systems

L0:studies

L0:concurrently.

L0:System

L0:studies

L0:completed

L0:but constr.

L0:Plan

L0:changes

L0:delayed.

L0:Anticipates

L0:changes,

L0:advise

L0:Shipyard but

L0:misses

L0:completion of

L0:design plans

L0:10%.

L0:Major work

L0:plans

L0:coordinated

L0:in time to

L0:meet

L0:production

L0:schedules.

L0:25% dwgs.

L0:Not

L0:compatible

L0:with Shipyard

L0:repro.

L0:processes

L0:and use.

L0:20% not

L0:compatible

L0:with Shipyard

L0:repro.

L0:processes

L0:and use.

L0:10% not

L0:compatible

L0:with Shipyard

L0:repro.

L0:processes

L0:and use.

L1:(B-2)

L0:Thoroughness

L0:and Accuracy

L0:of Work.

L0:Has followed
L0:guidance,
L0:type and
L0:standard
L0:dwgs.
L0:Is brief on
L0:plans tending
L0:to leave
L0:questionable
L0:situations for
L0:Shipyard to
L0:resolve.

L1:(B-3)

L0:Engineering
L0:Competence.
L0:Tendency to
L0:follow past
L0:practice with
L0:no variation
L0:to meet
L0:reqmts. job in
L0:hand.
L0:Adequate
L0:engrg. To
L0:use & adapt
L0:existing
L0:designs to
L0:suit job on
L0:Has followed
L0:guidance,
L0:type and
L0:standard
L0:dwgs.
L0:Questioning
L0:and resolving
L0:doubtful
L0:areas.
L0:Engineered
L0:to satisfy
L0:specs.,
L0:guidance
L0:plans and
L0:material
L0:provided.
L0:Keeps

L0:Shipyard
L0:posted on
L0:delays,
L0:resolves
L0:independently
L0:on plans.
L0:Design
L0:changes from
L0:studies and
L0:interrelated
L0:plant issued
L0:in time to
L0:meet product
L0:schedules.
L0:0% dwgs
L0:prepared by
L0:Des. Agent
L0:not
L0:compatible
L0:with Shipyard
L0:repro.
L0:processes
L0:and use.
L0:Work
L0:complete with
L0:notes and
L0:thorough
L0:explanations
L0:for anticipated
L0:questionable
L0:areas.
L0:Displays
L0:excellent
L0:knowledge of
L0:constr.
L0:Reqmts.
L0:considering
L0:systems
L0:Excellent
L0:Delivers all
L0:plans on
L0:schedule &
L0:meets prod.
L0:Change
L0:requirements

L0:on schedule.
L0:Anticipates in
L0:good time,
L0:advises Ship-
L0:yard, resolves
L0:independently
L0:and meets
L0:production
L0:requirements.
L0:Design
L0:changes,
L0:studies
L0:resolved, and
L0:test data
L0:issued ahead
L0:of production
L0:requirements.
L0:0% dwgs.
L0:Presented
L0:incl. Des.
L0:Agent,
L0:vendors,
L0:subcontr. Not
L0:compatible
L0:with Shipyard
L0:repro
L0:processes
L0:and use.
L0:Work of
L0:highest
L0:caliber
L0:incorporating
L0:all pertinent
L0:data required
L0:including
L0:related
L0:activities.
L0:Exceptional
L0:knowledge of
L0:Naval
L0:shipwork &
L0:adaptability to
L0:work process
L0:incorporating
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L0:TABLE 16-1, PERFORMANCE EVALUATION CRITERIA

L0:Submarginal Marginal

L0:Good

L0:hand for

L0:routine work.

L0:B

L0:Quality of

L0:Work

L0:(Cont?d)

L1:(B-4)

L0:Liaison

L0:Effectiveness

L1:(B-5)

L1:(C-1)

L0:Utilization of

L0:Personnel

L0:C

L0:Effective-

L0:ness in

L0:Control-

L0:ling

L0:and/or

L0:Reducing

L0:Costs

L0:Indifferent to

L0:requirements

L0:of associated

L0:activities,

L0:related

L0:systems, and

L0:Shipyard

L0:advice.

L0:Constant

L0:surveillance

L0:required to

L0:keep job from

L0:slipping?

L0:assign to low

L0:priority to

L0:satisfy needs.

L0:Planning of

L0:work left to

L0:designers on

L0:drafting
L0:boards.
L0:Satisfactory
L0:but
L0:dependent
L0:on Shipyard
L0:of force
L0:resolution of
L0:problems
L0:without
L0:constructive
L0:recommen--
L0:dations to
L0:subcontr. or
L0:vendors.
L0:Requires
L0:occasional
L0:prodding to
L0:stay on
L0:schedule &
L0:expects
L0:Shipyard
L0:resolution of
L0:most
L0:problems.
L0:Supervision
L0:sets &
L0:reviews
L0:goals for
L0:designers.

L1:(C-2)

L0:Control Direct
L0:Charges
L0:(Except
L0:Labor)
L0:Expenditures
L0:not controlled
L0:for services.
L0:Expenditures
L0:reviewed
L0:occasionally
L0:by
L0:supervision.
L0:Maintains
L0:normal

L0:contract with
L0:associated
L0:activities
L0:depending
L0:on Shipyard
L0:for problems
L0:requiring
L0:military
L0:resolution.
L0:Normal
L0:interest and
L0:desire to
L0:provide
L0:workable
L0:plans with
L0:average
L0:assistance &
L0:direction by
L0:Shipyard.
L0:System
L0:planning by
L0:supervisory,
L0:personnel,
L0:studies
L0:checked by
L0:engineers.
L0:Direct
L0:charges set
L0:& accounted
L0:for on each
L0:work
L0:package.

L1:(C-3)

L0:Performance
L0:to Cost
L0:Estimate
L0:Does not
L0:meet cost
L0:estimate for
L0:original work
L0:Does not
L0:meet cost
L0:estimate for
L0:original work
L0:Exceeds

L0:original est.
L0:on change
L0:orders 10%
L0:Very Good
L0:aspect, cost,
L0:shop
L0:capabilities,
L0:and
L0:procurement
L0:problems.
L0:Maintains
L0:independent
L0:contact with
L0:all associated
L0:activities,
L0:keeping them
L0:informed to
L0:produce
L0:compatible
L0:design with
L0:little
L0:assistance
L0:from
L0:Shipyard.
L0:Complete &
L0:accurate job.
L0:Free of
L0:incom-
L0:patibilities
L0:with little or
L0:no direction
L0:by Shipyard.
L0:Design
L0:parameters
L0:established
L0:by system
L0:engineers &
L0:held in design
L0:plans.
L0:Provides
L0:services as
L0:part of normal
L0:design
L0:function w/o
L0:extra

L0:charges.
L0:Exceeds
L0:original est.
L0:on changing
L0:Excellent
L0:knowledge of
L0:future
L0:planning in
L0:Design.
L0:Maintains
L0:expert
L0:contact,
L0:keeping
L0:Shipyard
L0:informed,
L0:obtaining info
L0:from equip,
L0:supplies w/o
L0:prompting of
L0:Shipyard.
L0:Develops
L0:complete and
L0:accurate
L0:plans, seeks
L0:out problem
L0:areas and
L0:resolves with
L0:assoc. act.
L0:ahead of
L0:schedule.
L0:Mods. to
L0:design plans
L0:limited to less
L0:than 5% as
L0:result lack
L0:engrg.
L0:System
L0:correlation.
L0:No cost
L0:overruns on
L0:original
L0:estimates
L0:absorbs
L0:service
L0:demands by

L0:Shipyard.

L0:Never

L0:exceeds

L0:estimates of

L0:original

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L0:TABLE 16-1, PERFORMANCE EVALUATION CRITERIA

L0:Submarginal Marginal

L0:or changes

L0:30% time.

L0:or changes

L0:20% time.

L0:Good

L0:time and

L0:meets

L0:original

L0:design costs.

L0:Very Good

L0:orders 5%

L0:time.

L0:Excellent

L0:package or

L0:change

L0:orders.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L0:TABLE 16-2, CONTRACTOR PERFORMANCE EVALUATION REPORT

L0:Period of _____

L0:Contract Number

L0: _____

L0:Contractor

L0: _____

L0>Date of Report

L0: _____

L0:PNS Technical Monitor/s _____

L0: _____

L0:Ratings

L0:Excellent

L0:Very Good

L0:Marginal

L0:Submarginal

L0:CATEGORY CRITERIA

L0:RATING

L0:ITEM

L0:FACTOR

L0:EVALUATION

L0:RATING

L0:CATEGORY

L0:FACTOR

L0:EFFICIENCY

L0:RATING

L0:A

L0:B

L0:TIME OF

L0:DELIVERY

L0:A-1 Adher-

L0:ence to Plan

L0:Schedule

L0:A-2 Action on

L0:Anticipated

L0:Delays

L0:A-3 Plan

L0:Maintenance

L0:QUALITY OF

L0:WORK

L0:B-1 Work

L0:Appearance

L0:B-2 Thorough-

L0:ness and

L0:Accuracy of

L0:Work

L0:B-3

L0:Engineering

L0:Competence

L0:B-4 Liaison

L0:Effectiveness

L0:B-5 Indepen-

L0:dence and

L0:Initiative

L0:_____

L0:x

L0:.40

L0:=

L0:_____

L0:_____

L0:x

L0:.30

L0:=

L0:_____

L0:_____

L0:x

L0:.30

L0:=

L0:_____

L0:Total Item Weighted Rating

L0:_____

L0:x

L0:.30

L0:= _____

L0:_____

L0:x

L0:.15

L0:=

L0:_____

L0:_____

L0:x

L0:.30

L0:=

L0:_____

L0:_____

L0:x

L0:_____

L0:x

L0:.20

L0:.15

L0:=

L0:_____

L0:=

L0:_____

L0:_____

L0:x

L0:.15

L0:=

L0:_____

L0:Total Item Weighted Rating

L0:_____

L0:x

L0:.40

L0:= _____

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L0:C

L0:EFFECTIVE-

L0:NESS IN

L0:CONTROL-

L0:LING AND/OR

L0:REDUCING

L0:COSTS

L0:C-1 Utilization of

L0:Personnel

L0:C-2 Control of

L0:all Direct

L0:Charges Other

L0:than Labor

L0:C-3

L0:Performance to

L0:Cost Estimate

L0: _____

L0:x

L0:.30

L0:=

L0: _____

L0: _____

L0:x

L0:.30

L0:=

L0: _____

L0: _____

L0:x

L0:.40

L0:=

L0: _____

L0:Total Item Weighted Rating

L0:_____ x

L0:.30

L0:= _____

L0:TOTAL WEIGHT RATING _____

L0:Rated by: _____

L0:Signature(s) _____

L0:NOTE: Provide supporting data and/or justification for below average or outstanding item ratings.

L0:PGI 216.403 Application of predetermined, formula-type incentives.

L0:PGI 216.403-2 Performance incentives.

L0:Contractor performance incentives should relate to specific performance areas of

L0:milestones, such as delivery or test schedules, quality controls, maintenance requirements,

L0:and reliability standards.

L0:PGI 216.404 Fixed-price incentive contracts.

L0:PGI 216.404-170 Fixed-price incentive (firm target) contracts.

L1:(1) Use of FPIF contract.

L1:(i) Not mandatory. Contracting officers must carefully consider whether to use a

L0:fixed-price incentive (firm target) (FPIF) contract, especially for acquisitions moving from

L0:development to production. DFARS does not mandate the use of FPIF for initial production

L0:and each acquisition situation must be evaluated in terms of the degree and nature of the

L0:risk presented in order to select the proper contract type.

L1:(ii) Considerations. Volume 4, chapter 1, of the Contract Pricing Reference Guide

L0:provides a detailed discussion of the considerations involved in selecting the proper contract

L0:type. For example:

L1:(A) It is not in the Government's best interest to use FPIF when the cost risk is

L0:so great that establishing a ceiling price is unrealistic.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L1:(B) It is also not in the Government's best interest to use firm-fixed-price (FFP)

L0:contracts on production programs until costs have become stable. Therefore, FPIF

L0:contracts should be considered in production and sole source follow-on programs where

L0:actual costs on prior FFP contracts have varied by more than 3-4 percent from the costs

L0:considered negotiated. Contracting officers are reminded that actual costs on prior contracts

L0:for the same item or essentially the same item, regardless of contract type or data reporting

L0:requirements of the prior contract, are cost and pricing data on the pending contract, and

L0:must be obtained from the contractor on production programs when certified cost or pricing

L0:data are required.

L1:(C) For sole source major systems procurements, contracting officers should

L0:utilize FPIF contracts instead of FFP contracts unless the reasons for significant variation

L0:are well understood and actions have been taken to ensure that significant variation will not

L0:recur. In addition, when options are included as described in PGI 217.201-70, the use of

L0:FPIF contracts is both highly recommended and encouraged, because both parties will be

L0:assuming more risk in pricing multiple years of requirements.

L1:(2) Incentive arrangement. Contracting officers should consider share lines and ceiling

L0:prices for fixed-price incentive (firm target) contracts, with 120 percent ceiling and a 50/50

L0:share ratio as the point of departure for establishing the incentive arrangement. While the

L0:DFARS does not mandate the use of these share ratios or ceiling percentage, it is not

L0:unreasonable to expect that upon entering into production, risks have been mitigated to the

L0:point that the DFARS recommended point of departure for an FPIF incentive arrangement

L0:would be normal.

L1:(3) Analyzing risk.

L1:(i) Quantification of risk.

L1:(A) The first step is establishing a target cost for which the probability of an

L0:underrun and overrun are considered equal and therefore, the risks and rewards are shared
 L0:equally, hence the 50/50 share is the point of departure. Equally important is determining
 L0:that the contractor has a high probability of being able to accomplish the effort within a
 L0:ceiling percentage of 120 percent. In accomplishing both these steps, the analysis of risk is
 L0:essential.

L1:(B) Too often, risk is evaluated only in general terms without attempting to
 L0:quantify the risk posed by the various elements of cost. Also, a contracting officer may
 L0:incorrectly fall back on the share ratios and ceiling percentages negotiated on prior contracts
 L0:or other programs, without examining the specific risks.

L1:(C) Whether being used to select the proper contract type or establishing share
 L0:lines and ceiling price on an FPIF contract, the analysis of risk as it pertains to the prime
 L0:contractor is key. From a contractor's perspective, all risks, including technical and schedule
 L0:risk, have financial ramifications. Technical and schedule risks, if realized, generally
 L0:translate into increased effort, which means increased cost. Therefore, all risk can be
 L0:translated into cost risk and quantified. Risk always has two components that must be
 L0:considered in the quantification: the magnitude of the impact and the probability that it will
 L0:occur.

L1:(D) When cost risk is quantified, it is much easier to establish a reasonable
 L0:ceiling percentage. The ceiling percentage is applicable to the target cost on the prime
 L0:contract. It is important to understand the degree of risk that various cost elements pose in
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16
 L0:Defense FAR Supplement (DFARS) Part 216
 L0:relation to that target cost. A discussion of the major cost elements and the risk implications
 L0:follows in paragraphs (3)(ii) through (iv) of this section.

L1:(ii) Subcontracts and material cost and risk.

L1:(A) In many prime contractors' contracts, a substantial amount of risk is borne
 L0:by subcontractors, not the prime contractor, via negotiated firm-fixed-price (FFP)
 L0:subcontracts. In the case of FFP subcontracts, the subcontractor is obligated to deliver at
 L0:the negotiated price. The risk to the prime contractor is the supplier's failure to perform or
 L0:perform on time. Generally, that risk is considered to be low by both the prime and the
 L0:subcontractor as evidenced by the FFP contract type. In addition, the prime contractor will
 L0:normally have priced effort for material management or subcontract administration to ensure
 L0:timely performance on the part of the suppliers. This effort may be bid directly or indirectly
 L0:(e.g., as part of an overhead expense) depending on the contractor's accounting practices.

L1:(B) The impact of negotiated FFP subcontracts on the prime contractor's risk
 L0:can be significant. A prime contract with a 120 percent ceiling price provides overrun
 L0:protection to the prime contractor equal to 20 percent of the target cost on the contract.
 L0:However, if FFP subcontracts represent half of the total contract cost, then half of the target
 L0:cost is subject to little or no cost risk on the part of the prime contractor. Therefore, the
 L0:overrun protection provided by 20 percent of the target cost is really closer to 40 percent
 L0:protection of the prime's cost that is truly at risk to the prime contractor, which likely is
 L0:significantly overstated. Thus, a ceiling price less than 120 percent in this risk situation
 L0:would be more appropriate.

L1:(C) For subcontracts that have not yet been negotiated between the prime and
 L0:subcontractor at the time of negotiation of the prime contract, the degree of risk is essentially

L0:limited to the difference between the price proposed by the subcontractor and the
L0:subcontract value included in the prime contractor's proposal.

L1:(D) For subcontracts that are not FFP, the risk to the prime is based on the risk
L0:represented by the subcontractors' contractual relationship with the prime. If the
L0:subcontract is FPIF and has a 50/50 share ratio and 120 percent ceiling, the prime's risk is
L0:50 percent of each dollar of overrun up to the ceiling amount. An analysis of the
L0:subcontractor's risk would be necessary to determine the probability of reaching the ceiling
L0:price.

L1:(iii) Direct labor cost and risk.

L1:(A) The risk in direct labor is in the hours needed to perform the effort and the
L0:risk in the labor rates paid to employees. There is generally little risk in the direct labor rates.
L0:However, there are various levels of risk in the direct labor hours needed by the prime
L0:contractor to accomplish the contract requirements. This risk can be driven by a number of
L0:factors including technical complexity, schedule constraints, or availability of personnel,
L0:parts, or tooling. Risks vary by task and the key is to identify the major tasks and assess the
L0:what if? impact at the total contract cost level.

L1:(B) Schedule is often correctly cited as a risk factor, but it is important to
L0:understand and quantify the probability and impact of a potential schedule slip. Generally,
L0:any schedule slip can only affect the prime contractor's in-house cost. Therefore, any
L0:schedule impact should be assessed on the impact it would have on the prime contractor's
L0:performance of its tasks.

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L1:(C) However, it is wrong to assume the worst-case scenario that a schedule
L0:delay results in an extension of the entire prime contractor workforce for the period of the
L0:delay. A responsible contractor will take steps to minimize both the delay and the impact of
L0:that delay. For instance, a production schedule assumes an optimal sequencing of tasks
L0:which presumes the timely arrival and availability of parts from suppliers or other in-house
L0:sources. A delay in receiving parts as planned could require a resequencing of tasks and
L0:could adversely affect the efficiency of performing a number of tasks, but it will not cause the
L0:entire workforce to be idle during the delay.

L1:(iv) Indirect (e.g., overhead) cost and risk. Overhead and other indirect costs (e.g.,
L0:general and administrative expense) can represent a significant portion of the prime
L0:contractor's in-house cost. Indirect expense (hereafter referred to as overhead) poses
L0:potential cost growth risk or the opportunity for cost reduction from the following two
L0:perspectives:

L1:(A) Actual overhead rate. (1) First, the actual overhead rate could be different
L0:than that proposed. Proposed overhead rates, even those covered by a forward pricing rate
L0:agreement, are based on forecasts of overhead expenses and the bases to which they are
L0:applied. The final overhead rate that is actually applied (charged) to a contract will be based
L0:on the actual overhead expenses and the actual base, each of which could be considerably
L0:different than estimated. The net effect could be a higher or lower overhead rate than
L0:estimated.

L1:(2) In general, the risk in an overhead rate tends to be driven more by
L0:fluctuations in the base than in the expenses. This is because overhead expenses are

L0:made up of expenses that consist of ?fixed? (e.g., depreciation) and variable (e.g., fringe benefits) in nature. When the actual base turns out to be lower than the estimated base, the fixed costs are spread over a smaller base resulting in a higher overhead rate. In general, if the actual base is greater than estimated, a lower overhead rate will result.

L1:(3) In assessing this risk, the contracting officer should consider the contractor's ability to predict overhead rates based on comparing proposed versus actual rates for prior years. In making this comparison, it is important to do so in a manner consistent with the proposal being reviewed. For instance, if the majority of overhead costs on the proposal being reviewed occur two years in the future, the comparison should look at the contractor's accuracy in predicting overhead rates two years in advance. For example, in looking at the 2009 actual overhead rate, what did the contractor propose for 2009 in its 2007 forward pricing rate proposal?

L1:(B) Actual base cost. If the actual base cost on the contract (e.g., direct labor dollars) is different than that proposed, the contract will be charged overhead costs according to the actual base costs on that contract. If the contractor overruns direct labor, even if the actual labor overhead rate was the same as proposed, that rate would be applied to a higher base resulting in increased overhead dollars on that contract. The opposite would be true if the contractor underruns direct labor on the contract. Since this aspect of risk is tied to the base cost on the contract, the risk is the same as it is for those base costs (e.g., direct labor, material).

L0:PGI 216.404-2 Fixed-price incentive (successive targets) contracts.

L0:The formula specified in FAR 16.404-2(a)(3) does not apply for the life of the contract. It is used to fix the firm target profit for the contract. To provide an incentive consistent with the circumstances, the formula should reflect the relative risk involved in establishing an incentive arrangement where cost and pricing information were not sufficient to permit the negotiation of firm targets at the outset.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16

L0:Defense FAR Supplement (DFARS) Part 216

L0:PGI 216.405 Cost-plus-incentive-fee contracts.

L0:Give appropriate weight to basic acquisition objectives in negotiating the range of fee and the fee adjustment formula. For example?

L1:(1) In an initial product development contract, it may be appropriate to provide for relatively small adjustments in fee tied to the cost incentive feature, but provide for significant adjustments if the contractor meets or surpasses performance targets; and

L1:(2) In subsequent development and test contracts, it may be appropriate to negotiate an incentive formula tied primarily to the contractor's success in controlling costs.

L0:PGI 216.5 INDEFINITE-DELIVERY CONTRACTS

L0:PGI 216.507 Additional ordering procedures for multiple-award contracts.

L0:PGI 216.507-6 Exceptions to fair opportunity.

L1:(b) Exceptions. For an order exceeding the simplified acquisition threshold, that is a follow-on to an order previously issued for the same supply or service based on a justification for an exception to fair opportunity citing the authority FAR 16.507-6(b)(2) or

L1:(3)?

L1:(i) The justification must include a copy of the previous justification to assist the

L0:approval authority in determining whether the actions to remove or overcome any barriers
L0:that led to the exception to fair opportunity cited on the previous justification were completed;
L0:and

L1:(ii) The approval authority must determine whether the planned actions were
L0:completed. If the actions were not completed, the justification for the follow-on action must
L0:be approved by the approval authority one-level above the approval authority for the
L0:previous justification (see FAR 16.507-6(e)). If the previous justification was approved by
L0:the Senior Procurement Executive (SPE), the approval remains at the SPE level.
L0:PGI 216.507-70 Orders under multiple-award contracts.

L1:(b) For task orders issued under multiple-award indefinite-delivery indefinite-quantity
L0:services contracts, contracting officers must, when minimum labor category qualifications
L0:exist in the underlying contract-

L1:(1) Ensure solicitations contain minimum labor category qualifications deemed
L0:necessary for successful task order performance, such as education and years of work
L0:experience, that are consistent with the contract's requirements;

L1:(2) When allowed under the terms of the contract, identify any exceptions from labor
L0:category qualifications, such as education and years of work experience, proposed by the
L0:contractor as an alternative. When exceptions exist, contracting officers must-

L1:(i) Identify any proposed exception from the labor category qualifications in the
L0:contract file, considering any potential performance and price impacts on the agency's
L0:requirements, and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 16
L0:Defense FAR Supplement (DFARS) Part 216

L1:(ii) Document the reasons for accepting any proposed alternatives to the
L0:contract requirements; and

L1:(3) Include verification procedures within the quality assurance surveillance plan to
L0:ensure contractor personnel providing the service meet qualification requirements identified
L0:for the labor categories specified in the task order and contract. Verification, such as
L0:validation of contractor personnel education and years of relevant work experience, ensures
L0:the Government receives adequate services, as identified in task order and contract
L0:performance requirements (see FAR 46.104 and 46.407).

L0:PGI 216.7?AGREEMENTS

L0:PGI 216.703 Basic ordering agreements.
L0:PGI 216.703-3 Limitations.

L2:(d)(i) Individual orders under a basic ordering agreement must be individually closed
L0:following completion of the orders (see FAR 4.804).

L1:(ii) The office issuing the agreement must furnish all authorized ordering offices
L0:sufficient information for the ordering office to complete its contract reporting responsibilities
L0:under DFARS 204.602 or, in the case of civilian agencies, the Federal Procurement Data
L0:System reporting requirement. Data furnished to civilian agencies must contain uncoded
L0:information about the data elements and the meanings of the codes to permit these users to
L0:translate the data into the federal format. This data must be furnished to the ordering activity
L0:in sufficient time for the activity to prepare its report for the action within 3 working days of
L0:the order.

L1:(iii) Any activity listed in the agreement may issue orders on DD Form 1155, Order

L0:for Supplies or Services, or Standard Form 26, Award/Contract.

PART 17

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

217.102 Definitions

Status: active

L0:217.102 Definitions.

L0:As used in this subpart?

L0:Advance procurement? means an exception to the full funding policy that allows

L0:acquisition of long lead time items (advance long lead acquisition) or economic order

L0:quantities (EOQ) of items (advance EOQ acquisition) in a fiscal year in advance of that

L0:in which the related end item is to be acquired. Advance procurements may include

L0:materials, parts, components, and effort that must be funded in advance to maintain a

L0:planned production schedule.

L0:Congressional defense committees,? means?

L1:(1) The Committee on Armed Services of the Senate;

L1:(2) The Committee on Appropriations of the Senate;

L1:(3) The Subcommittee on Defense of the Committee on Appropriations of the

L0:Senate;

L1:(4) The Committee on Armed Services of the House of Representatives;

L1:(5) The Committee on Appropriations of the House of Representatives; and

L1:(6) The Subcommittee on Defense of the Committee on Appropriations of the House

L0:of Representatives.

L0:Military installation? means a base, camp, post, station, yard, center, or other activity

L0:under the jurisdiction of the Secretary of a military department or, in the case of an

L0:activity in a foreign country, under the operational control of the Secretary of a military

L0:department or the Secretary of Defense (10 U.S.C. 2801(c)(4)).

217.103 Presolicitation

Status: active

L0:217.103 Presolicitation.

217.103-1 Policy

Status: active

L0:217.103-1 Policy.

217.103-170 Multiyear contract cost analysis

Status: active

L0:217.103-170 Multiyear contract cost analysis.

L0:Before awarding a multiyear contract, the head of the agency must compare the cost of
L0:that contract to the cost of an annual procurement approach, using a present value
L0:analysis. Only award the multiyear contract if the analysis shows that it will result in a
L0:lower cost (10 U.S.C. 3501(l)(7); section 8008(a) of Pub. L. 105-56, and similar sections
L0:in subsequent DoD appropriations acts).

217.103-171 Multiyear contracts for services

Status: active

L0:217.103-171 Multiyear contracts for services.

L1:(a) The head of the agency has the authority to enter into multiyear contracts for a
L0:period of not more than 5 years for covered services and items of supply relating to such
L0:services, even though funds are limited by statute to obligation only during the fiscal
L0:year for which they were appropriated (10 U.S.C. 3531(a). Covered services are?
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217

L1:(1) Operation, maintenance, and support of facilities and installations;

L1:(2) Maintenance or modification of aircraft, ships, vehicles, and other highly
L0:complex military equipment;

L1:(3) Specialized training requiring high quality instructor skills (e.g., training for
L0:pilots and aircrew members or foreign language training);

L1:(4) Base services (e.g., ground maintenance, in-plane refueling, bus
L0:transportation, and refuse collection and disposal); and

L1:(5) Environmental remediation services for?

L1:(i) An active military installation;

L1:(ii) A military installation being closed or realigned under a base closure
L0:law as defined in 10 U.S.C. 2667(h)(2); or

L1:(iii) A site formerly used by DoD (10 U.S.C. 3531(b)).

L1:(b) See PGI 217.103-171(b) for considerations for using multiyear contracts for
L0:services.

L1:(c) Before entering into a multiyear contract for services, the head of the agency
L0:must make a written determination that?

L1:(1) There will be a continuing requirement for the services that is consistent
L0:with current plans for the proposed contract period;

L1:(2) Furnishing the services will require?

L1:(i) A substantial initial investment in plant or equipment; or

L1:(ii) The incurrence of substantial contingent liabilities for the assembly,
L0:training, or transportation of a specialized work force; and

L1:(3) Using a multiyear contract will promote the best interests of the United
L0:States by encouraging effective competition and promoting economies in operations (10

L0:U.S.C. 3531(a)).

L1:(d) The head of an agency may not initiate a multiyear contract for services if the

L0:value of the multiyear contract exceeds \$900 million unless specifically authorized by

L0:law (10 U.S.C. 3531(d)(2)).

217.103-172 Multiyear contracts for supplies

Status: active

L0:217.103-172 Multiyear contracts for supplies.

L1:(a) This section applies to all multiyear contracts for supplies, including weapon

L0:systems and other multiyear acquisitions specifically authorized by law (10 U.S.C.

L0:3501).

L1:(b) Multiyear contracts in amounts exceeding \$900 million must be specifically

L0:authorized by law in an act other than an appropriations act (10 U.S.C. 3501(i)(1)).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L1:(c) The head of the agency may not initiate a multiyear procurement contract for

L0:any system (or component thereof) if the value of the multiyear contract exceeds \$900

L0:million unless authority for the contract is specifically provided in an appropriations act

L0:(10 U.S.C. 3501(l)(3)).

L1:(d) The head of the agency must not enter into a multiyear contract unless?

L1:(1) The Secretary of Defense has submitted to Congress a budget request for

L0:full funding of units to be procured through the contract;

L1:(2) In the case of a contract for procurement of aircraft, the budget request

L0:includes full funding of procurement funds for production beyond advance procurement

L0:activities of aircraft units to be produced in the fiscal year covered by the budget;

L1:(3) Cancellation provisions in the contract do not include consideration of the

L0:contractor's recurring manufacturing costs associated with the production of unfunded

L0:units to be delivered under the contract;

L1:(4) The contract provides that payments to the contractor under the contract

L0:must not be made in advance of incurred costs on funded units; and

L1:(5) The contract does not provide for a price adjustment based on a failure to

L0:award a follow-on contract (section 8010 of Division C, Title VIII, of the Consolidated

L0:and Further Continuing Appropriations Act, 2015 (Pub. L. 113-235) and similar

L0:sections in subsequent DoD appropriations acts).

L2:(e)(1) The head of the agency must not enter into or extend a multiyear contract

L0:that exceeds \$900 million (when entered into or extended) until the Secretary of

L0:Defense identifies the contract and any extension in a report submitted to the

L0:congressional defense committees (10 U.S.C. 3501(l)(5)).

L1:(2) In addition, for contracts equal to or greater than \$900 million, the head of

L0:the contracting activity must determine that the conditions required by paragraphs

L3:(g)(2)(i) through (vii) of this section will be met by such contract, in accordance with the

L0:Secretary's certification and determination required by paragraph (g)(2) of this section.

L1:(f) The head of the agency may enter into a multiyear contract for?

L1:(1) A weapon system and associated items, services, and logistics support for a
L0:weapon system (10 U.S.C. 3501(h)(1)); and

L1:(2) Advance procurement of components, parts, and materials necessary to
L0:manufacture a weapon system, including advance procurement to achieve economic lot
L0:purchases or more efficient production rates (see paragraphs (g)(3) and (4) of this
L0:section regarding economic order quantity procurements) (10 U.S.C. 3501(h)(2)). Before
L0:initiating an advance procurement, the contracting officer must verify that it is
L0:consistent with DoD policy (e.g., the full funding policy in Volume 2A, chapter 1, of DoD
L0:7000.14-R, Financial Management Regulation).

L1:(g) The head of the agency must ensure that the following conditions are satisfied
L0:before awarding a multiyear contract for a defense acquisition program that has been
L0:specifically authorized by law to be carried out using multiyear contract authority:
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217

L1:(1) The multiyear exhibits required by DoD 7000.14-R, Financial Management
L0:Regulation, are included in the agency?s budget estimate submission and the
L0:President?s budget request.

L1:(2) The Secretary of Defense certifies to Congress in writing, by no later than 30
L0:days before entry into such contracts, that each of the conditions in paragraphs (g)(2)(i)
L0:through (vii) of this section is satisfied (10 U.S.C. 3501(i)(3)).

L1:(i) The Secretary has determined that each of the requirements in FAR
L0:17.103-1, paragraphs (b)(1) through (b)(7), will be met by such contract and has
L0:provided the basis for such determination to the congressional defense committees (10
L0:U.S.C. 3501(i)(3)(A)).

L1:(ii) The Secretary?s determination under paragraph (g)(2)(i) of this section
L0:was made after the completion of a cost analysis performed by the Defense Cost and
L0:Resource Center of the Department of Defense and such analysis supports the findings
L0:(10 U.S.C. 3501(i)(3)(B)).

L1:(iii) The system being acquired pursuant to such contract has not been
L0:determined to have experienced cost growth in excess of the critical cost growth
L0:threshold pursuant to 10 U.S.C. 4371(a)(3) within 5 years prior to the date the
L0:Secretary anticipates such contract (or a contract for advance procurement entered into
L0:consistent with the authorization for such contract) will be awarded (10 U.S.C.
L0:3501(i)(3)(C)).

L1:(iv) A sufficient number of end items of the system being acquired under
L0:such contract have been delivered at or within the most current estimates of the
L0:program acquisition unit cost or procurement unit cost for such system to determine
L0:that current estimates of such unit costs are realistic (10 U.S.C. 3501(i)(3)(D)).

L1:(v) Sufficient funds will be available in the fiscal year in which the contract
L0:will be awarded to perform the contract, and the future-years defense program for such
L0:fiscal year will include the funding required to execute the program without
L0:cancellation (10 U.S.C. 3501(i)(3)(E)).

L1:(vi) The contract is a fixed price type contract (10 U.S.C. 3501(i)(3)(F)).

L1:(vii) The proposed multiyear contract provides for production at not less
L0:than minimum economic rates, given the existing tooling and facilities (10 U.S.C.

L0:3501(i)(3)(G)). The head of the agency must submit to OUSD(C)(P/B) information
L0:supporting the agency's determination that this requirement has been met.
L1:(viii) The head of the agency must submit information supporting this
L0:certification to OUSD(C)(P/B) for transmission to Congress through the Secretary of
L0:Defense.
L0:written notification to the congressional defense committees of?
L1:(A) The head of the agency must, as part of this certification, give
L0:in the proposed multiyear contract, together with the reasons for the amounts planned;
L1:(1) The cancellation ceiling amounts planned for each program year
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217
L0:included in the budget for the contract; and
L1:(2) The extent to which costs of contract cancellation are not
L0:costs of contract cancellation (10 U.S.C. 3501(g)); and
L1:(3) A financial risk assessment of not including the budgeting for
L0:Office of Management and Budget at least 14 days before contract award.
L1:(B) The head of the agency must provide copies of the notification to the
L1:(3) The contract is for the procurement of a complete and usable end item (10
L0:U.S.C. 3501(i)(5)(A)).
L1:(4) Funds appropriated for any fiscal year for advance procurement are
L0:obligated only for the procurement of those long-lead items that are necessary in order
L0:to meet a planned delivery schedule for complete major end items that are programmed
L0:under the contract to be acquired with funds appropriated for a subsequent fiscal year
L0:(including an economic order quantity of such long-lead items when authorized by law
L0:(10 U.S.C. 3501(i)(5)(B)).
L1:(5) The Secretary may make the certification under paragraph (g)(2) of this
L0:section notwithstanding the fact that one or more of the conditions of such certification
L0:are not met if the Secretary determines that, due to exceptional circumstances,
L0:proceeding with a multiyear contract under this section is in the best interest of the
L0:Department of Defense and the Secretary provides the basis for such determination
L0:with the certification (10 U.S.C. 3501(i)(6)).
L1:(6) The Secretary of Defense may not delegate this authority to make the
L0:certification under paragraph (g)(2) of this section or the determination under
L0:paragraph (g)(5) of this section to an official below the level of the Under Secretary of
L0:Defense for Acquisition and Sustainment (10 U.S.C. 3501(i)(7)).
L1:(7) If the agency finds, after negotiations with the contractor(s), that the
L0:savings cannot be achieved, the head of the agency must assess the savings
L0:that, nevertheless, could be achieved by using a multiyear contract. If the savings are
L0:substantial, the head of the agency may request relief from the law's specific savings
L0:requirement (10 U.S.C. 3501(i)(4)). The request must?
L1:(i) Quantify the savings that can be achieved;
L1:(ii) Explain any other benefits to the Government of using the multiyear
L0:contract;
L0:and
L1:(iii) Include details regarding the negotiated contract terms and conditions;

L1:(iv) Be submitted to OUSD(A&S)/DPCAP for transmission to Congress via
L0:the Secretary of Defense and the President.
L1:(i) The Secretary of Defense may instruct the head of the agency proposing a
L0:multiyear contract to include in that contract negotiated priced options for varying the
L0:quantities of end items to be procured over the life of the contract (10 U.S.C. 3501(j)).
L1:(j) Any requests for increased funding or reprogramming for procurement of a
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217
L0:major system under a multiyear contract must be accompanied by an explanation of
L0:how the request for increased funding affects the determinations made by the Secretary
L0:of Defense under paragraph (g)(2) of this section (10 U.S.C. 3501(m)).

217.103-173 Multiyear contracts for military family housing

Status: active

L0:217.103-173 Multiyear contracts for military family housing.
L0:The head of the agency may enter into multiyear contracts for periods up to 4 years for
L0:supplies and services required for management, maintenance, and operation of military
L0:family housing and may pay the costs of such contracts for each year from annual
L0:appropriations for that year (10 U.S.C. 2829).

217.103-174 Multiyear contracts for electricity from renewable energy

Status: active

L0:217.103-174 Multiyear contracts for electricity from renewable energy
L0:sources.
L1:(a) The head of the contracting activity may enter into a contract for a period not to
L0:exceed 10 years for the purchase of electricity from sources of renewable energy, as that
L0:term is defined in section 203(b)(2) of the Energy Policy Act of 2005 (42 U.S.C.
L0:15852(b)(2)).
L1:(b) The head of the contracting activity may exercise the authority in paragraph (a)
L0:of this section to enter into a contract for a period in excess of five years only if the head
L0:of the contracting activity determines, on the basis of a business case analysis prepared
L0:by the requiring activity, that?
L1:(1) The proposed purchase of electricity under such contract is cost effective;
L0:and
L1:(2) It would not be possible to purchase electricity from the source in an
L0:economical manner without the use of a contract for a period in excess of five years.
L1:(c) Nothing in this section shall be construed to preclude the DoD from using other
L0:multiyear contracting authority of DoD to purchase renewable energy.
L1:(d) See PGI 217.103-174 for a business case analysis template and guidance.

217.103-2 Procedures

Status: active

L0:217.103-2 Procedures.

L3:(b)(1)(A) Every multiyear contract must comply with FAR 17.103-2(b)(1), unless an
L0:exception is approved through the budget process in coordination with the cognizant
L0:comptroller.

217.104 Evaluation and award

Status: active

L0:217.104 Evaluation and award.

217.104-370 Congressional notification

Status: active

L0:217.104-370 Congressional notification.

L1:(a) The head of the agency must provide written notice to the congressional defense
L0:committees at least 30 days before termination of any multiyear contract (section 8010
L0:of Pub. L. 113-235, and similar sections in subsequent DoD appropriations acts).
L2:(b)(1) DoD must provide notification to the congressional defense committees at
L0:least 30 days before awarding a multiyear contract for certain procurements, including
L0:those expected to?
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217
L1:(i) Employ an unfunded contingent liability in excess of \$20 million (see 10
L0:U.S.C. 3501(l)(1), 10 U.S.C. 3531(d)(1), and section 8008(a) of Pub. L. 105-56 and similar
L0:sections in subsequent DoD appropriations acts);
L1:(ii) Employ economic order quantity procurement in excess of \$20 million in
L0:any one year of the contract (see 10 U.S.C. 3501(l)(1)) and section 8008(a) of Pub. L. 105-
L0:56 and similar sections in subsequent DoD appropriations acts);
L1:(iii) Involve a contract for advance procurement leading to a multiyear
L0:contract that employs economic order quantity procurement in excess of \$20 million in
L0:any one year (see 10 U.S.C. 3501(l)(1) and section 8008(a) of Pub. L. 105-56 and similar
L0:sections in subsequent DoD appropriations acts); or
L1:(iv) Include a cancellation ceiling in excess of \$200 million (see 10 U.S.C.
L0:3531(d)(4) and 10 U.S.C. 3501(g)(1).
L1:(2) A DoD component must request authority to enter into multiyear contracts
L0:(described in paragraphs (b)(1)(i) through (iv)) when submitting its budget for the fiscal
L0:year in which the contract will start.
L1:(3) See PGI 217.104-370(b) for multiyear contract congressional notifications,
L0:budget submission, and reporting procedures.

217.201 Presolicitation

Status: active

L0:217.201 Presolicitation.

217.201-170 Use of options

Status: active

L0:217.201-170 Use of options.

L1:(a) The sealed bidding requirement at FAR 17.201-1(a) also applies to sealed bid
L0:solicitations for contracts excluded by FAR 17.200.

L1:(b) See PGI 217.201-170 for guidance on the use of options for foreign military sales
L0:and for use with sole source major systems for U.S. and U.S.-FMS combined
L0:procurements.

L1:(c) For a contract that is initially awarded from the competitive selection of a
L0:proposal resulting from a broad agency announcement, see 234-7202(e) for the use of
L0:contract options for the development and demonstration or initial production of
L0:technology developed under the contract or the delivery of initial or additional items.

217.201-270 Contracts

Status: active

L0:217.201-270 Contracts.

L1:(a) Notwithstanding FAR 17.201-2(b)(2), the ordering period of a task order or
L0:delivery order contract (including a contract for information technology) awarded by
L0:DoD pursuant to 10 U.S.C. 3403?

L1:(1) May be for any period up to 5 years;

L1:(2) May be subsequently extended for one or more successive periods in
L0:accordance with an option provided in the contract or a modification of the contract; and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217

L1:(3) Must not exceed 10 years unless the head of the agency determines in
L0:writing that exceptional circumstances require a longer ordering period.

L1:(b) Paragraph (a) of this section does not apply to the following:

L1:(1) Contracts, including task or delivery order contracts, awarded under other
L0:statutory authority.

L1:(2) Advisory and assistance service task order contracts (authorized by 10
L0:U.S.C. 3405 that are limited by statute to 5 years, with the authority to extend an
L0:additional 6 months (see FAR 16.501-2(c)(2)).

L1:(3) Definite-quantity contracts.

L1:(4) GSA schedule contracts.

L1:(5) Multi-agency contracts awarded by agencies other than NASA, DoD, or the
L0:Coast Guard.

L1:(c) Obtain approval from the senior procurement executive before issuing an order

L0:against a task or delivery order contract subject to paragraph (a) of this section, if
L0:performance under the order is expected to extend more than 1 year beyond the 10-year
L0:limit or extended limit described in paragraph (a)(3) of this section (see FAR 37.803-2
L0:for funding and term of service contracts).

217.204 Postaward

Status: active

L0:217.204 Postaward.

217.204-170 Exercise of options

Status: active

L0:217.204-170 Exercise of options.

L0:In addition to the requirements at FAR 17.204-1(b), exercise an option only after:

L1:(a) Determining that the contractor's record in the System for Award

L0:Management database is active and the contractor's unique entity identifier,

L0:Commercial and Government Entity (CAGE) code, name, and physical address are

L0:accurately reflected in the contract document. See PGI 217.204-170 for the requirement

L0:to perform cost or price analysis of spare parts prior to exercising any option for firm-

L0:fixed-price contracts containing spare parts.

L1:(b) Verifying in the Supplier Performance Risk System (SPRS)

L0:(<https://www.sprs.csd.disa.mil/>) that?

L1:(1) The summary level score of a current NIST SP 800-171 DoD Assessment

L0:(i.e., not more than 3 years old, unless a lesser time is specified in the solicitation) for

L0:each covered contractor information system that is relevant to an offer, contract, task

L0:order, or delivery order are posted.

L1:(2) The contractor has a CMMC certificate at the level required by the contract,

L0:and that it is current (i.e., not more than 3 years old).

217.203-70 Solicitation provisions and contract clauses

Status: active

L0:217.203-70 Solicitation provisions and contract clauses.

L1:(a) Insert the basic or the alternate of the clause at 252.217-7000, Exercise of Option

L0:to Fulfill Foreign Military Sales Commitments, in solicitations and contracts when an

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L0:option may be used for foreign military sales requirements. Do not insert the basic or

L0:the alternate of this clause in contracts for establishment or replenishment of DoD

L0:inventories or stocks, or acquisitions made under DoD cooperative logistics support

L0:arrangements.

L1:(1) Insert the basic clause when the foreign military sales country is known at

L0:the time of solicitation or award.

L1:(2) Insert the alternate I clause when the foreign military sale country is not

L0:known at the time of solicitation or award.

L1:(b) When a surge option is needed in support of industrial capability production

L0:planning, insert the clause at 252.217-7001, Surge Option, in solicitations and

L0:contracts.

L1:(1) Insert the percentage or quantity of increase the option represents in

L0:paragraph (a) of the clause to ensure adequate quantities are available to meet item

L0:requirements.

L1:(2) Change 30 days in paragraphs (b)(2) and (d)(1) to longer periods, if

L0:appropriate.

L1:(3) Change the 24-month period in paragraph (c)(3), if appropriate.

217.500 Scope of subpart

Status: active

L0:217.500 Scope of subpart.

L1:(a) Unless more specific statutory authority exists, the procedures in FAR subpart

17.5 and this subpart apply to all purchases, except micro-purchases, made for DoD by

Status: active

L0:17.5 and this subpart apply to all purchases, except micro-purchases, made for DoD by

L0:another agency. This includes orders under a task or delivery order contract entered

L0:into by the other agency. (Pub. L. 105-261, Section 814.)

L1:(b) A contracting activity from one DoD Component may provide acquisition

L0:assistance to deployed DoD units or personnel from another DoD Component. See PGI

217.502-1 General

Status: active

L0:217.502-1 General.

L1:(a) Written agreement on responsibility for management and administration?

L1:(1) Assisted acquisitions. Follow the procedures at PGI 217.502-1(a)(1), when a

L0:contracting activity from a DoD Component provides acquisition assistance to deployed

L0:DoD units or personnel from another DoD Component.

217.502 Procedures

Status: active

L0:217.502 Procedures.

217.503 Ordering procedures

Status: active

L0:217.503 Ordering procedures.

L1:(d) Follow the procedures at PGI 217.503 determination and findings guidance

L0:when the requesting agency is within DoD or when a DoD contracting office is acting as

L0:the servicing agency.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

217.600 Scope of subpart

Status: active

L0:217.600 Scope of subpart.

L0:This subpart implements Section 854 of Pub. L. 108-375, Section 801 of Pub. L. 110-181,

L0:and Section 806 of Pub. L. 111-84.

217.601 Definitions

Status: active

L0:217.601 Definitions.

L0:As used in this subpart?

L0:Assisted acquisition? means the type of interagency contracting through which

L0:acquisition officials of a non-DoD agency award a contract or a task or delivery order for

L0:the acquisition of supplies or services on behalf of DoD.

L0:Direct acquisition? means the type of interagency contracting through which DoD

L0:orders a supply or service from a Governmentwide acquisition contract maintained by a

L0:non-DoD agency.

L0:Governmentwide acquisition contract? means a task or delivery order contract that-

L1:(i) Is entered into by a non-defense agency; and

L1:(ii) May be used as the contract under which property or services are procured for

L0:one or more other departments or agencies of the Federal Government.

217.670 Procedures

Status: active

L0:217.670 Procedures.

L0:Departments and agencies must establish and maintain procedures for reviewing and

L0:approving orders placed for supplies and services under non-DoD contracts, whether

L0:through direct acquisition or assisted acquisition, when the amount of the order exceeds

L0:the simplified acquisition threshold. These procedures must include?

L1:(a) Evaluating whether using a non-DoD contract for the acquisition is in the best

L0:interest of DoD. Factors to be considered include?

L1:(1) Satisfying customer requirements;
L1:(2) Schedule;
L1:(3) Cost effectiveness (taking into account discounts and fees). In order to
L0:ensure awareness of the total cost of fees associated with use of a non-DoD contract,
L0:follow the procedures at PGI 217.670(a)(3); and
L1:(4) Contract administration (including oversight);
L1:(b) Determining that the tasks to be accomplished or supplies to be provided are
L0:within the scope of the contract to be used;
L1:(c) Reviewing funding to ensure that it is used in accordance with appropriation
L0:limitations; and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217
L1:(d) Collecting and reporting data on the use of assisted acquisition for analysis.
L0:Follow the reporting requirements in 204.301.

217.700 Scope of subpart

Status: active

L0:217.700 Scope of subpart.
L0:FAR subpart 17.7 does not apply to DoD.

217.7000 Scope of subpart

Status: active

L0:217.7000 Scope of subpart.
L0:This subpart prescribes policy and procedures for exchange of non-excess personal
L0:property concurrent with an acquisition. 40 U.S.C. 503 permits exchange of personal
L0:property and application of the exchange allowance to the acquisition of similar
L0:property. This subpart does not authorize the sale of non-excess personal property.

217.7001 Definitions

Status: active

L0:217.7001 Definitions.
L0:As used in this subpart?
L1:(a) ?Exchange (trade-in) property? means property which?
L1:(1) Is not excess but is eligible for replacement (because of obsolescence,
L0:unserviceability, or other reason); and
L1:(2) Is applied as whole or partial payment toward the acquisition of similar
L0:items (i.e., items designed and constructed for the same purpose).
L1:(b) ?Property? means items that fall within one of the generic categories listed in
L0:DoD Manual 4140.01, Volume 9, DoD Supply Chain Materiel Management Procedures:
L0:Materiel Programs.

217.7002 Policy

Status: active

L0:217.7002 Policy.

L0:DoD policy is to exchange, rather than replace, eligible non-excess property whenever

L0:exchange promotes economical and efficient program accomplishment. Exchange

L0:policy, authority, and applicability are governed by?

L1:(a) The Federal Property Management Regulations issued by the Administrator of

L0:the General Services Administration; and

L1:(b) DoD Manual 4140.01, Volume 9, DoD Supply Chain Materiel Management

L0:Procedures: Materiel Programs.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

217.7003 Purchase request

Status: active

L0:217.7003 Purchase request.

L0:See PGI 217.7003 for information provided by the requiring activity to support purchase

L0:requests.

217.7004 Solicitation and award

Status: active

L0:217.7004 Solicitation and award.

L0:Follow the procedures at PGI 217.7004 for solicitations, exchanges with offerors, and

L0:awards guidance.

217.7005 Solicitation provision

Status: active

L0:217.7005 Solicitation provision.

L0:Insert the provision at 252.217-7002, Offering Property for Exchange, when offering

L0:nonexcess personal property for exchange. Allow a minimum of 14 calendar days for

L0:the inspection period in paragraph (b) of the clause if the exchange property is in the

L0:contiguous United States. Allow at least 21 calendar days outside the contiguous

L0:United States.

217.7100 Scope of subpart

Status: active

L0:217.7100 Scope of subpart.

L0:This subpart contains acquisition policies and procedures for master agreements for

L0:repair and alteration of vessels.

217.7101 Definitions

Status: active

L0:217.7101 Definitions.

L1:(a) ?Master agreement for repair and alteration of vessels??

L1:(1) Is a written instrument of understanding, negotiated between a contracting

L0:activity and a contractor that?

L1:(A) Contains contract clauses, terms, and conditions applying to future

L0:contracts for repairs, alterations, and/or additions to vessels; and

L1:(B) Contemplates separate future contracts that will incorporate by

L0:reference or attachment the required and applicable clauses agreed upon in the master

L0:agreement.

L1:(2) Is not a contract.

L1:(b) ?Job order??

L1:(1) Is a fixed price contract incorporating, by reference or attachment, a master

L0:agreement for repair and alteration of vessels;

L1:(2) May include clauses pertaining to subjects not covered by the master

L0:agreement; but applicable to the job order being awarded; and

L1:(3) Applies to a specific acquisition and sets forth the scope of work, price,

L0:delivery date, and other appropriate terms that apply to the particular job order.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

217.7102 General

Status: active

L0:217.7102 General.

L1:(a) Activities will enter into master agreements for repair and alteration of vessels

L0:with all prospective contractors located within the United States or its outlying areas,

L0:which?

L1:(1) Request ship repair work; and

L1:(2) Possess the organization and facilities to perform the work satisfactorily.

L0:(Issuance of a master agreement does not indicate approval of the contractor's facility

L0:for any particular acquisition and is not an affirmative determination of responsibility

L0:under FAR subpart 9.1 for any particular acquisition.)

L1:(b) Activities may use master agreements in work with prospective contractors

L0:located outside the United States and its outlying areas.

L1:(c) Activities may issue job orders under master agreements to effect repairs,

L0:alterations, and/or additions to vessels belonging to foreign governments.

L1:(1) Contractors shall treat vessels of a foreign government as if they were

L0:vessels of the U.S. Government when requested by the contracting officer.

L1:(2) Identify the vessel and the foreign government in the solicitation and job

L0:order.

217.7103 Master agreements and job orders

Status: active

L0:217.7103 Master agreements and job orders.

217.7103-1 Content and format of master agreements

Status: active

L0:217.7103-1 Content and format of master agreements.

L0:Follow the procedures at PGI 217.7103-1 for preparation of master agreements.

217.7103-2 Period of agreement

Status: active

L0:217.7103-2 Period of agreement.

L1:(a) Master agreements remain in effect until cancelled by either the contractor or

L0:the contracting officer.

L1:(b) Either the contractor or contracting officer may cancel a master agreement by

L0:giving 30 days written notice to the other.

L1:(c) Cancellation of a master agreement does not affect the rights and liabilities

L0:under any job order existing at the time of cancellation. The contractor must continue

L0:to perform all work covered by any job order issued before the effective date of

L0:cancellation of the master agreement.

217.7103-3 Solicitations for job orders

Status: active

L0:217.7103-3 Solicitations for job orders.

L1:(a) When a requirement for the type of work covered by the master agreement is

L0:identified within the United States or its outlying areas, solicit offers from prospective

L0:contractors that?

L1:(1) Previously executed a master agreement; or

L1:(2) Possess the necessary qualifications to perform the work and agree to

L0:execute a master agreement before award of a job order.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L1:(b) Follow the procedures at PGI 217.7103-3 when preparing solicitations for job

L0:orders.

217.7103-4 Emergency work

Status: active

L0:217.7103-4 Emergency work.

L1:(a) The contracting officer, without soliciting offers, may issue a written job order to

L0:a contractor that has previously executed a master agreement when?

L1:(1) Delay in the performance of necessary repair work would endanger a vessel,

L0:its cargo or stores; or

L1:(2) Military necessity requires immediate work on a vessel.

L1:(b) Follow the procedures at PGI 217.7103-4 when processing this type of

L0:undefinitized contract action.

217.7103-5 Repair costs not readily ascertainable

Status: active

L0:217.7103-5 Repair costs not readily ascertainable.

L0:Follow the procedures at PGI 217.7103-5 if the nature of any repairs is such that their

L0:extent and probable cost cannot be determined readily.

217.7103-6 Modification of master agreements

Status: active

L0:217.7103-6 Modification of master agreements.

L1:(a) Review each master agreement at least annually before the anniversary of its

L0:DFARS. Statutory or other mandatory changes may require review and revision earlier

L0:than one year.

L1:(b) A master agreement must be changed by modifying the master agreement itself.

L0:A job order cannot modify a master agreement.

L1:(c) A modification to a master agreement shall not affect job orders issued before the

217.7104 Contract clauses

Status: active

L0:217.7104 Contract clauses.

L1:(a) Insert the following clauses in solicitations for, and in, master agreements for

L0:repair and alteration of vessels:

L1:(1) 252.217-7003, Changes.

L1:(2) 252.217-7004, Job Orders and Compensation.

L1:(3) 252.217-7005, Inspection and Manner of Doing Work.

L1:(4) 252.217-7006, Title.

L1:(5) 252.217-7007, Payments.

L1:(6) 252.217-7008, Bonds.

L1:(7) 252.217-7009, Default.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217
L1:(8) 252.217-7010, Performance.
L1:(9) 252.217-7011, Access to Vessel.
L1:(10) 252.217-7012, Liability and Insurance.
L1:(11) 252.217-7013, Guarantees.
L1:(12) 252.217-7014, Discharge of Liens.
L1:(13) 252.217-7015, Safety and Health.
L1:(14) 252.217-7016, Plant Protection, as applicable.
L2:(b)(1) Incorporate in solicitations for, and in, job orders, the clauses in the master
L0:agreement, and any other clauses on subjects not covered by the master agreement, but
L0:applicable to the job order to be awarded.
L1:(2) Insert the clause at 252.217-7016, Plant Protection, in job orders where
L0:performance is to occur at the contractor's facility.

217.7300 Scope

Status: active

L0:217.7300 Scope.
L0:This subpart implements 10 U.S.C. 4753. It contains policy and procedures for
L0:requiring contractors to identify the actual manufacturer of supplies furnished to DoD.

217.7301 Policy

Status: active

L0:217.7301 Policy.
L0:Contractors are required to identify their sources of supply in contracts for supplies.
L0:Contractor identification of sources of supply enables solicitation, in subsequent
L0:acquisitions, of actual manufacturers or other suppliers of items. This enhances
L0:competition and potentially avoids payment of additional costs for no significant added
L0:value.

217.7302 Procedures

Status: active

L0:217.7302 Procedures.
L1:(a) Whenever practicable, include a requirement for contractor identification of
L0:sources of supply in contracts for the delivery of supplies. Contractors are required to
L0:identify?
L1:(1) The item's actual manufacturer or producer, or all the contractor's sources
L0:for the item;
L1:(2) The item's national stock number, if applicable;
L1:(3) The item identification number used by?

L1:(i) The actual manufacturer or producer of the item; or
L1:(ii) Each of the contractor's sources for the item; and
L1:(4) The source of any technical data delivered under the contract.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217
L1:(b) The requirement in paragraph (a) of this section does not apply to contracts that
L0:are?
L1:(1) For commercial products; or
L1:(2) Valued at or below the simplified acquisition threshold.

217.7303 Solicitation provision

Status: active

L0:217.7303 Solicitation provision.
L1:(a) Insert the provision at 252.217-7026, Identification of Sources of Supply, or one
L0:substantially the same, in solicitations for supplies conducted under other than full and
L0:open competition, except when?
L1:(1) Using FAR 6.103-5;
L1:(2) The contracting officer already has the information required by the provision
L0:(e.g., the information was obtained under other acquisitions);
L1:(3) The contract is for subsistence, clothing or textiles, fuels, or supplies
L0:purchased and used outside the United States;
L1:(4) The contracting officer determines that it would not be practicable to require
L0:offerors/contractors to provide the information, e.g., nonrepetitive local purchases; or
L1:(5) The contracting officer determines that the exception at 217.7302(b) applies
L0:to all items under the solicitation.
L1:(b) If appropriate, insert the provision at 252.217-7026, Identification of Sources of
L0:Supply, or one substantially the same, in service contracts requiring the delivery of
L0:supplies.

217.7400 Scope

Status: active

L0:217.7400 Scope.
L0:This subpart prescribes policies and procedures implementing 10 U.S.C. 3371, et seq.

217.7401 Definitions

Status: active

L0:217.7401 Definitions.
L0:As used in this subpart?
L0:Contract action? means an action which results in a contract.
L1:(1) It includes contract modifications for additional supplies or services.

L1:(2) It includes task orders and delivery orders.

L1:(3) It does not include change orders, administrative changes, funding

L0:modifications, or any other contract modifications that are within the scope and under

L0:the terms of the contract, e.g., engineering change proposals, value engineering change

L0:proposals, and over and above work requests as described in subpart 217.77.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L0:Definitization? means the agreement on, or determination of, contract terms,

L0:specifications, and price, which converts the undefinitized contract action to a definitive

L0:contract.

L0:Qualifying proposal? means a proposal that contains sufficient information to

L0:enable DoD to conduct meaningful analyses and audits of the information contained in

L0:the proposal.

L0:Undefinitized contract action? means any contract action for which the contract

L0:terms, specifications, or price are not agreed upon before performance is begun under

L0:the action. Examples are letter contracts, orders under basic ordering agreements, and

L0:provisioned item orders, for which the price has not been agreed upon before

L0:performance has begun.

217.7402 Exceptions

Status: active

L0:217.7402 Exceptions.

L1:(a) The following undefinitized contract actions (UCAs) are not subject to this

L0:subpart. However, the contracting officer will apply the policy and procedures to them

L0:to the maximum extent practicable (also see paragraph (b) of this section):

L1:(1) Purchases at or below the simplified acquisition threshold.

L1:(2) Special access programs.

L1:(3) Congressionally mandated long-lead procurement contracts.

L1:(b) If the contracting officer determines that it is impracticable to adhere to the

L0:procedures of this subpart for a particular contract action that falls within one of the

L0:categories in paragraph (a) of this section, the contracting officer will provide prior

L0:notice, through agency channels, electronically via email to the Principal Director,

L0:Defense Pricing, Contracting, and Acquisition Policy (Contract Policy), at

217.7403 Policy

Status: active

L0:217.7403 Policy.

L0:DoD policy is that undefinitized contract actions will?

L1:(a) Be used only when?

L1:(1) The negotiation of a definitive contract action is not possible in sufficient

L0:time to meet the Government's requirements; and

L1:(2) The Government's interest demands that the contractor be given a binding

L0:commitment so that contract performance can begin immediately.

L1:(b) Be as complete and definite as practicable under the particular circumstances.

217.7404 Limitations

Status: active

L0:217.7404 Limitations.

L0:See PGI 217.7404 for additional guidance on obtaining approval to authorize use of an

L0:undefinitized contract action, documentation requirements, and other limitations on

L0:their use.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L1:(a) Foreign military sales contracts.

L1:(1) A contracting officer may not enter into a UCA for a foreign military sale

L0:unless?

L1:(i) The UCA provides for agreement upon contractual terms, specifications,

L0:and price by the end of the 180-day period beginning on the date on which the

L0:contractor submits a qualifying proposal; and

L1:(ii) The contracting officer obtains approval from the head of the contracting

L0:activity to enter into a UCA in accordance with 217.7404-1.

L1:(2) The head of the contracting activity may waive the requirements of

L0:paragraph (a)(1) of this section, if a waiver is necessary in order to support any of the

L0:following operations:

L1:(i) A contingency operation.

L1:(ii) A humanitarian or peacekeeping operation.

L1:(b) Unilateral definitization by a contracting officer. Any UCA with a value greater

L0:than \$50 million may not be unilaterally definitized until?

L1:(1) The earlier of?

L1:(i) The end of the 180-day period, beginning on the date on which the

L0:contractor submits a qualifying proposal to definitize the contractual terms,

L0:specifications, and price; or

L1:(ii) The date on which the amount of funds expended under the contractual

L0:action is equal to more than 50 percent of the negotiated overall not-to-exceed price for

L0:the contractual action;

L1:(2) The head of the contracting activity, without power of redelegation, approves

L0:the definitization in writing;

L1:(3) The contracting officer provides a copy of the written approval to the

L0:contractor; and

L1:(4) A period of 30 calendar days has elapsed after the written approval is

L0:provided to the contractor.

217.7404-1 Authorization

Status: active

L0:217.7404-1 Authorization.

L0:The contracting officer will obtain approval from the head of the contracting activity before?

L1:(a) Entering into a UCA. The request for approval must fully explain the need to

L0:begin performance before definitization, including the adverse impact on agency

L0:requirements resulting from delays in beginning performance.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L1:(b) Including requirements for non-urgent spare parts and support equipment in a

L0:UCA. The request should show that inclusion of the non-urgent items is consistent

L0:with good business practices and in the best interest of the United States.

L1:(c) Modifying the scope of a UCA when performance has already begun. The

L0:request should show that the modification is consistent with good business practices

L0:and in the best interests of the United States.

217.7404-2 Price ceiling

Status: active

L0:217.7404-2 Price ceiling.

L0:UCAs must include a not-to-exceed price. See PGI 217.7404-2 for additional guidance

L0:on establishing the not-to-exceed price.

217.7404-3 Definitization schedule

Status: active

L0:217.7404-3 Definitization schedule.

L1:(a) UCAs must contain definitization schedules that provide for definitization by the

L0:earlier of?

L1:(1) The date that is 180 days after the contractor submits a qualifying proposal.

L0:This date may not be extended beyond an additional 90 days without a written

L0:determination by the head of the contracting activity without power of redelegation, the

L0:commander of the combatant command concerned, or the Under Secretary of Defense

L0:for Acquisition and Sustainment that it is in the best interests of the military

L0:department or the defense agency, the combatant command, or the Department of

L0:Defense, respectively, to continue the actions; or

L1:(2) The date on which the amount of funds obligated under the contract action

L0:is equal to more than 50 percent of the not-to-exceed price.

L2:(b)(1) Submission of a qualifying proposal in accordance with the definitization

L0:schedule is a material element of the contract. If the contractor does not submit a

L0:qualifying proposal in accordance with the contract definitization schedule,

L0:notwithstanding FAR 52.216-26, Payments of Allowable Costs Before Definitization, the

L0:contracting officer may withhold an amount necessary to protect the interests of the

L0:Government, not to exceed 5 percent of all subsequent financing requests, or take other

L0:appropriate actions (e.g., documenting the noncompliance in the contractor's past

L0:performance evaluation or terminating the contract for default).
L1:(2) Contracting officers must document in the contract file the justification for
L0:withholding or not withholding payments if the qualifying proposal was not submitted
L0:in accordance with the contract definitization schedule.

217.7404-4 Limitations on obligations

Status: active

L0:217.7404-4 Limitations on obligations.
L1:(a) The Government must not obligate more than 50 percent of the not-to-exceed
L0:price before definitization. However, if a contractor submits a qualifying proposal
L0:before 50 percent of the not-to-exceed price has been obligated by the Government, then
L0:the limitation on obligations before definitization may be increased to no more than 75
L0:percent (see 232.102-70 for coverage on provisional delivery payments).
L1:(b) In determining the appropriate amount to obligate, the contracting officer will
L0:assess the contractor?s proposal for the undefinitized period and will obligate funds only
L0:in an amount consistent with the contractor?s requirements for the undefinitized period.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217

217.7404-5 Exceptions

Status: active

L0:217.7404-5 Exceptions.
L1:(a) The limitations in 217.7404-2, 217.7404-3, and 217.7404-4 do not apply to UCAs
L0:for the purchase of initial spares.
L1:(b) The head of an agency may waive the limitations in 217.7404(a), 217.7404-2,
L0:217.7404-3, and 217.7404-4 for UCAs if the head of the agency determines that the
L0:waiver is necessary to support?
L1:(1) A contingency operation; or
L1:(2) A humanitarian or peacekeeping operation.

217.7404-6 Allowable profit

Status: active

L0:217.7404-6 Allowable profit.
L0:When the final price of a UCA is negotiated after a substantial portion of the required
L0:performance has been completed, the head of the contracting activity will ensure the
L0:profit allowed reflects?
L1:(a) Any reduced cost risk to the contractor for costs incurred during contract
L0:performance before negotiation of the final price. However, if a contractor submits a
L0:qualifying proposal to definitize a UCA, and the contracting officer for such action
L0:definitizes the contract after the end of the 180-day period beginning on the date on

L0:which the contractor submitted the qualifying proposal, the profit allowed on the
L0:contract must accurately reflect the cost risk of the contractor as such risk existed on
L0:the date the contractor submitted the qualifying proposal;
L1:(b) Any reduced cost risk to the contractor for costs expected to be incurred during
L0:performance of the remainder of the contract after negotiation of the final price; and
L1:(c) The requirements at 215.409 (see PGI 217.7404-6). Document the risk
L0:assessment in the price negotiation memorandum.

217.7405 Plans and reports

Status: active

L0:217.7405 Plans and reports.
L1:(a) To provide for enhanced management and oversight of UCAs, departments and
L0:agencies must?
L1:(1) Prepare and maintain a Consolidated UCA Management Plan; and
L1:(2) Prepare semi-annual Consolidated UCA Management Reports addressing
L0:each UCA with an estimated value exceeding \$5 million following the procedures at
L0:PGI 217.7405.
L1:(b) Consolidated UCA Management Reports shall include information about all
L0:change orders that are not forward priced (i.e., unpriced) and have an estimated value
L0:exceeding \$5 million.

217.7406 Contract clauses

Status: active

L0:217.7406 Contract clauses.
L1:(a) Insert the clause at FAR 52.216-24, Limitation of Government Liability, in?
L1:(1) All UCAs;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217
L1:(2) Solicitations associated with UCAs;
L1:(3) Basic ordering agreements;
L1:(4) Indefinite delivery contracts;
L1:(5) Any other type of contract providing for the use of UCAs; and
L1:(6) Unpriced change orders with an estimated value exceeding \$5 million.
L2:(b)(1) Insert the clause at 252.217-7027, Contract Definitization, in?
L1:(i) All UCAs;
L1:(ii) Solicitations associated with UCAs;
L1:(iii) Basic ordering agreements;
L1:(iv) Indefinite delivery contracts;
L1:(v) Any other type of contract providing for the use of UCAs; and
L1:(vi) Unpriced change orders with an estimated value exceeding \$5 million.
L1:(2) Insert the applicable information in paragraphs (a), (b), and (d) of the clause.

L1:(3) If, at the time of entering into the UCA or unpriced change order, the
L0:contracting officer knows that the definitive contract action will meet the criteria of
L0:FAR 15.403-1 or 15.403-2 for not requiring submission of certified cost or pricing data,
L0:the words "and certified cost or pricing data" may be deleted from paragraph (a) of the
L0:clause.

217.7500 Scope of subpart

Status: active

L0:217.7500 Scope of subpart.
L0:This subpart provides guidance on additional requirements related to acquisition of
L0:replenishment parts.

217.7501 Definition

Status: active

L0:217.7501 Definition.
L0:As used in this subpart?
L0:"Replenishment parts" means repairable or consumable parts acquired after the initial
L0:provisioning process.

217.7502 General

Status: active

L0:217.7502 General.
L1:(a) See PGI 217.7502 for more information on replenishment parts.
L1:(b) Departments and agencies?
L1:(1) May acquire replenishment parts concurrently with production of the end
L0:item.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217
L1:(2) Must provide for full and open competition when fully adequate drawings
L0:and any other needed data are available with the right to use for acquisition purposes
L0:(see Part 227). However, when data is not available for a competitive acquisition, follow
L0:the procedures at PGI 217.7504.
L1:(3) Shall follow the limitations on price increases in 217.7505.

217.7503 Spares acquisition integrated with production

Status: active

L0:217.7503 Spares acquisition integrated with production.
L0:Follow the procedures at PGI 217.7503 for acquiring spare parts concurrently with the

L0:end item.

217.7504 Acquisition of parts when data is not available

Status: active

L0:217.7504 Acquisition of parts when data is not available.

L0:Follow the procedures at PGI 217.7504 when acquiring parts for which the Government

L0:does not have the necessary data.

217.7505 Limitations on price increases

Status: active

L0:217.7505 Limitations on price increases.

L0:This section provides implementing guidance for Section 1215 of Pub. L. 98-94 (10

L0:U.S.C. 2452 note).

L1:(a) Do not award, on a sole source basis, a contract for any centrally managed

L0:replenishment part when the price of the part has increased by 25 percent or more over

L0:the most recent 12-month period.

L1:(1) Before computing the percentage difference between the current price and

L0:the prior price, adjust for quantity, escalation, and other factors necessary to achieve

L0:comparability.

L1:(2) Departments and agencies may specify an alternate percentage or

L0:percentages for contracts at or below the simplified acquisition threshold.

L1:(b) The contracting officer may award a contract for a part, the price of which

L0:exceeds the limitation in paragraph (a) of this section, if the contracting officer certifies

L0:in writing to the head of the contracting activity before award that?

L1:(1) The contracting officer has evaluated the price of the part and concluded

L0:that the price increase is fair and reasonable; or

L1:(2) The national security interests of the United States require purchase of the

L0:part despite the price increase.

L1:(c) The fact that a particular price has not exceeded the limitation in paragraph (a)

L0:of this section does not relieve the contracting officer of the responsibility for obtaining a

L0:fair and reasonable price.

L1:(d) Contracting officers may include a provision in sole source solicitations requiring

L0:that the offeror supply with its proposal, price and quantity data on any Government

L0:orders for the replenishment part issued within the most recent 12 months.

217.7506 Spare parts breakout program

Status: active

L0:217.7506 Spare parts breakout program.

L0:See PGI 217.7506 and DoD Manual 4140.01, Volume 9, DoD Supply Chain Materiel

L0:Management Procedures: Materiel Programs, for spare parts breakout requirements.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217

217.7601 Provisioning

Status: active

L0:217.7601 Provisioning.
L1:(a) Follow the procedures at PGI 217.7601 for contracts with provisioning
L0:requirements.
L1:(b) For technical requirements of provisioning, see DoD Manual 4140.01, Volume 2,
L0:DoD Supply Chain Materiel Management Procedures: Demand and Supply Planning.

217.7701 Procedures

Status: active

L0:217.7701 Procedures.
L0:Follow the procedures at PGI 217.7701 when acquiring over and above work.

217.7702 Contract clause

Status: active

L0:217.7702 Contract clause.
L0:Insert the clause at 252.217-7028, Over and Above Work, in solicitations and contracts
L0:containing requirements for over and above work, except as provided for in subpart
L0:217.71.

252.217-7000 Exercise of Option to Fulfill Foreign Military Sales

Status: active

L0:252.217-7000 Exercise of Option to Fulfill Foreign Military Sales
L0:Commitments.
L0:Basic. As prescribed in 217.203-70(a) and (a)(1), use the following clause:
L0:EXERCISE OF OPTION TO FULFILL FOREIGN MILITARY SALES
L0:COMMITMENTS?BASIC (NOV 2014)
L1:(a) The Government may exercise the option(s) of this contract to fulfill foreign
L0:military sales commitments.
L1:(b) The foreign military sales commitments are for:
L0:(Insert name of country)
L0:(Insert applicable CLIN)
L0:(End of clause)
L0:Alternate I. As prescribed in 217.203-70(a) and (a)(2), use the following clause,
L0:which uses a different paragraph (b) than paragraph (b) of the basic clause:

L0:EXERCISE OF OPTION TO FULFILL FOREIGN MILITARY SALES

L0:COMMITMENTS?ALTERNATE I (NOV 2014)

L1:(a) The Government may exercise the option(s) of this contract to fulfill foreign

L0:military sales commitments.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L1:(b) On the date the option is exercised, the Government shall identify the foreign

L0:country for the purpose of negotiating any equitable adjustment attributable to foreign

L0:military sales. Failure to agree on an equitable adjustment shall be treated as a dispute

L0:under the Disputes clause of this contract.

L0:(End of clause)

252.217-7001 Surge Option

Status: active

L0:252.217-7001 Surge Option.

L0:As prescribed in 217.203-70(b), use the following clause:

L0:SURGE OPTION (DEC 2018)

L1:(a) General. The Government has the option to?

L1:(1) Increase the quantity of supplies or services called for under this contract by

L0:no more than ____ percent or _____ [insert quantity and description of services

L0:or supplies to be increased]; and/or

L1:(2) Accelerate the rate of delivery called for under this contract, at a price or

L0:cost established before contract award or to be established by negotiation as provided in

L0:this clause.

L1:(b) Schedule.

L1:(1) When the Capabilities Analysis Plan (CAP) is included in the contract, the

L0:option delivery schedule shall be the production rate provided with the Plan. If the

L0:Plan was negotiated before contract award, then the negotiated schedule shall be used.

L1:(2) If there is no CAP in the contract, the Contractor shall, within 30 days from

L0:the date of award, furnish the Contracting Officer a delivery schedule showing the

L0:maximum sustainable rate of delivery for items in this contract. This delivery schedule

L0:shall provide acceleration by month up to the maximum sustainable rate of delivery

L0:achievable within the Contractor's existing facilities, equipment, and subcontracting

L0:structure.

L1:(3) The Contractor shall not revise the option delivery schedule without

L0:approval from the Contracting Officer.

L1:(c) Exercise of option.

L1:(1) The Contracting Officer may exercise this option at any time before

L0:acceptance by the Government of the final scheduled delivery.

L1:(2) The Contracting Officer will provide a preliminary oral or written notice to

L0:the Contractor stating the quantities to be added or accelerated under the terms of this

L0:clause, followed by a contract modification incorporating the transmitted information

L0:and instructions. The notice and modification will establish a not-to-exceed price equal

L0:to the highest contract unit price or cost of the added or accelerated items as of the date
L0:of the notice.

L1:(3) The Contractor will not be required to deliver at a rate greater than the

L0:maximum sustainable delivery rate under paragraph (b)(2) of this clause, nor will the

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L0:exercise of this option extend delivery more than 24 months beyond the scheduled final
L0:delivery.

L1:(d) Price negotiation.

L1:(1) Unless the option cost or price was previously agreed upon, the Contractor

L0:shall, within 30 days from the date of option exercise, submit to the Contracting Officer

L0:a cost or price proposal (including a cost breakdown) for the added or accelerated items.

L1:(2) Failure to agree on a cost or price in negotiations resulting from the exercise

L0:of this option shall constitute a dispute concerning a question of fact within the meaning

L0:of the Disputes clause of this contract. However, nothing in this clause shall excuse the

L0:Contractor from proceeding with the performance of the contract, as modified, while any

L0:resulting claim is being settled.

252.217-7002 Offering Property for Exchange

Status: active

L0:252.217-7002 Offering Property for Exchange.

L0:As prescribed in 217.7005, use the following provision:

L0:(End of clause)

L0:OFFERING PROPERTY FOR EXCHANGE (JUN 2012)

L1:(a) The property described in item number _____, is being offered in

L0:accordance with the exchange provisions of 40 U.S.C. 503.

L1:(b) The property is located at (insert address) .

L0:Offerors may inspect the property during the period (insert beginning and ending

L0:dates and insert hours during day) .

252.217-7003 Changes

Status: active

L0:252.217-7003 Changes.

L0:As prescribed in 217.7104(a), use the following clause:

L0:(End of provision)

L0:CHANGES (DEC 1991)

L1:(a) The Contracting Officer may, at any time and without notice to the sureties, by

L0:written change order, make changes within the general scope of any job order issued

L0:under the Master Agreement in?

L1:(1) Drawings, designs, plans, and specifications;

L1:(2) Work itemized;

L1:(3) Place of performance of the work;

L1:(4) Time of commencement or completion of the work; and

L1:(5) Any other requirement of the job order.

L1:(b) If a change causes an increase or decrease in the cost of, or time required for,

L0:performance of the job order, whether or not changed by the order, the Contracting

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L0:Officer shall make an equitable adjustment in the price or date of completion, or both,

L0:and shall modify the job order in writing.

L1:(1) Within ten days after the Contractor receives notification of the change, the

L0:Contractor shall submit to the Contracting Officer a request for price adjustment,

L0:together with a written estimate of the increased cost.

L1:(2) The Contracting Officer may grant an extension of this period if the

L0:Contractor requests it within the ten day period.

L1:(3) If the circumstances justify it, the Contracting Officer may accept and grant

L0:a request for equitable adjustment at any later time prior to final payment under the

L0:job order, except that the Contractor may not receive profit on a payment under a late

L0:request.

L1:(c) If the Contractor includes in its claim the cost of property made obsolete or

L0:excess as a result of a change, the Contracting Officer shall have the right to prescribe

L0:the manner of disposition of that property.

L1:(d) Failure to agree to any adjustment shall be a dispute within the meaning of the

L0:Disputes clause.

L1:(e) Nothing in this clause shall excuse the Contractor from proceeding with the job

L0:order as changed.

252.217-7004 Job Orders and Compensation

Status: active

L0:252.217-7004 Job Orders and Compensation.

L0:As prescribed in 217.7104(a), use the following clause:

L0:(End of clause)

L0:JOB ORDERS AND COMPENSATION (MAY 2006)

L1:(a) The Contracting Officer shall solicit bids or proposals and make award of job

L0:orders. The issuance of a job order signed by the Contracting Officer constitutes award.

L0:The job order shall incorporate the terms and conditions of the Master Agreement.

L1:(b) Whenever the Contracting Officer determines that a vessel, its cargo or stores,

L0:would be endangered by delay, or whenever the Contracting Officer determines that

L0:military necessity requires that immediate work on a vessel is necessary, the

L0:Contracting Officer may issue a written order to perform that work and the Contractor

L0:hereby agrees to comply with that order and to perform work on such vessel within its

L0:capabilities.

L1:(1) As soon as practicable after the issuance of the order, the Contracting

L0:Officer and the Contractor shall negotiate a price for the work and the Contracting

L0:Officer shall issue a job order covering the work.

L1:(2) The Contractor shall, upon request, furnish the Contracting Officer with a

L0:breakdown of costs incurred by the Contractor and an estimate of costs expected to be

L0:incurred in the performance of the work. The Contractor shall maintain, and make

L0:available for inspection by the Contracting Officer or the Contracting Officer's

L0:representative, records supporting the cost of performing the work.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L1:(3) Failure of the parties to agree upon the price of the work shall constitute a

L0:dispute within the meaning of the Disputes clause of the Master Agreement. In the

L0:meantime, the Contractor shall diligently proceed to perform the work ordered.

L2:(c)(1) If the nature of any repairs is such that their extent and probable cost cannot

L0:be ascertained readily, the Contracting Officer may issue a job order (on a sealed bid or

L0:negotiated basis) to determine the nature and extent of required repairs.

L1:(2) Upon determination by the Contracting Officer of what work is necessary,

L0:the Contractor, if requested by the Contracting Officer, shall negotiate prices for

L0:performance of that work. The prices agreed upon shall be set forth in a modification of

L0:the job order.

L1:(3) Failure of the parties to agree upon the price shall constitute a dispute

L0:under the Disputes clause. In the meantime, the Contractor shall diligently proceed to

L0:perform the work ordered.

252.217-7005 Inspection and Manner of Doing Work

Status: active

L0:252.217-7005 Inspection and Manner of Doing Work.

L0:As prescribed in 217.7104(a), use the following clause:

L0:(End of clause)

L0:INSPECTION AND MANNER OF DOING WORK (JUL 2009)

L1:(a) The Contractor shall perform work in accordance with the job order, any

L0:drawings and specifications made a part of the job order, and any change or

L0:modification issued under the Changes clause of the Master Agreement.

L2:(b)(1) Except as provided in paragraph (b)(2) of this clause, and unless otherwise

L0:specifically provided in the job order, all operational practices of the Contractor and all

L0:workmanship, material, equipment, and articles used in the performance of work under

L0:the Master Agreement shall be in accordance with the best commercial marine

L0:practices and the rules and requirements of the American Bureau of Shipping, the U.S.

L0:Coast Guard, and the Institute of Electrical and Electronic Engineers, in effect at the

L0:time of Contractor's submission of bid (or acceptance of the job order, if negotiated).

L1:(2) When Navy specifications are specified in the job order, the Contractor shall

L0:follow Navy standards of material and workmanship. The solicitation shall prescribe

L0:the Navy standard whenever applicable.

L1:(c) The Government may inspect and test all material and workmanship at any

L0:time during the Contractor's performance of the work.

L1:(1) If, prior to delivery, the Government finds any material or workmanship is
L0:defective or not in accordance with the job order, in addition to its rights under the
L0:Guarantees clause of the Master Agreement, the Government may reject the defective
L0:or nonconforming material or workmanship and require the Contractor to correct or
L0:replace it at the Contractor's expense.

L1:(2) If the Contractor fails to proceed promptly with the replacement or
L0:correction of the material or workmanship, the Government may replace or correct the
L0:defective or nonconforming material or workmanship and charge the Contractor the
L0:excess costs incurred.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L1:(3) As specified in the job order, the Contractor shall provide and maintain an
L0:inspection system acceptable to the Government.

L1:(4) The Contractor shall maintain complete records of all inspection work and
L0:shall make them available to the Government during performance of the job order and
L0:for 90 days after the completion of all work required.

L1:(d) The Contractor shall not permit any welder to work on a vessel unless the
L0:welder is, at the time of the work, qualified to the standards established by the U.S.
L0:Coast Guard, American Bureau of Shipping, or Department of the Navy for the type of
L0:welding being performed. Qualifications of a welder shall be as specified in the job
L0:order.

L1:(e) The Contractor shall?

L1:(1) Exercise reasonable care to protect the vessel from fire;

L1:(2) Maintain a reasonable system of inspection over activities taking place in
L0:the vicinity of the vessel's magazines, fuel oil tanks, or storerooms containing flammable
L0:materials;

L1:(3) Maintain a reasonable number of hose lines ready for immediate use on the
L0:vessel at all times while the vessel is berthed alongside the Contractor's pier or in dry
L0:dock or on a marine railway;

L1:(4) Unless otherwise provided in a job order, provide sufficient security patrols
L0:to reasonably maintain a fire watch for protection of the vessel when it is in the
L0:Contractor's custody;

L1:(5) To the extent necessary, clean, wash, and steam out or otherwise make safe,
L0:all tanks under alteration or repair;

L1:(6) Furnish the Contracting Officer or designated representative with a copy of
L0:the ?gas-free? or ?safe-for-hotwork? certificate, provided by a Marine Chemist or Coast
L0:Guard authorized person in accordance with Occupational Safety and Health
L0:Administration regulations (29 CFR 1915.14) before any hot work is done on a tank;

L1:(7) Treat the contents of any tank as Government property in accordance with
L0:the Government Property clause; and

L1:(8) Dispose of the contents of any tank only at the direction, or with the
L0:concurrence, of the Contracting Officer.

L1:(f) Except as otherwise provided in the job order, when the vessel is in the custody of
L0:the Contractor or in dry dock or on a marine railway and the temperature is expected to
L0:go as low as 35 oF, the Contractor shall take all necessary steps to?

L1:(1) Keep all hose pipelines, fixtures, traps, tanks, and other receptacles on the
L0:vessel from freezing; and
L1:(2) Protect the stern tube and propeller hubs from frost damage.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217
L1:(g) The Contractor shall, whenever practicable?
L1:(1) Perform the required work in a manner that will not interfere with the
L0:berthing and messing of Government personnel attached to the vessel; and
L1:(2) Provide Government personnel attached to the vessel access to the vessel at
L0:all times.
L1:(h) Government personnel attached to the vessel shall not interfere with the
L0:Contractor's work or workers.
L2:(i)(1) The Government does not guarantee the correctness of the dimensions, sizes,
L0:and shapes set forth in any job order, sketches, drawings, plans, or specifications
L0:prepared or furnished by the Government, unless the job order requires that the
L0:Contractor perform the work prior to any opportunity to inspect.
L1:(2) Except as stated in paragraph (i)(1) of this clause, and other than those
L0:parts furnished by the Government, the Contractor shall be responsible for the
L0:correctness of the dimensions, sizes, and shapes of parts furnished under this
L0:agreement.
L1:(j) The Contractor shall at all times keep the site of the work on the vessel free from
L0:accumulation of waste material or rubbish caused by its employees or the work. At the
L0:completion of the work, unless the job order specifies otherwise, the Contractor shall
L0:remove all rubbish from the site of the work and leave the immediate vicinity of the
L0:work area ?broom clean.?
L0:(End of clause)

252.217-7006 Title

Status: active

L0:252.217-7006 Title.
L0:As prescribed in 217.7104(a), use the following clause:
L0:TITLE (DEC 1991)
L1:(a) Unless otherwise provided, title to all materials and equipment to be
L0:incorporated in a vessel in the performance of a job order shall vest in the Government
L0:upon delivery at the location specified for the performance of the work.
L1:(b) Upon completion of the job order, or with the approval of the Contracting Officer
L0:during performance of the job order, all Contractor-furnished materials and equipment
L0:not incorporated in, or placed on, any vessel, shall become the property of the
L0:Contractor, unless the Government has reimbursed the Contractor for the cost of the
L0:materials and equipment.
L1:(c) The vessel, its equipment, movable stores, cargo, or other ship's materials shall
L0:not be considered Government-furnished property.
L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217

252.217-7007 Payments

Status: active

L0:252.217-7007 Payments.

L0:As prescribed in 217.7104(a), use the following clause:

L0:PAYMENTS (DEC 1991)

L1:(a) ?Progress payments,? as used in this clause, means payments made before

L0:completion of work in progress under a job order.

L1:(b) Upon submission by the Contractor of invoices in the form and number of copies

L0:directed by the Contracting Officer, and as approved by the Contracting Officer, the

L0:Government will make progress payments as work progresses under the job order.

L1:(1) Generally, the Contractor may submit invoices on a semi-monthly basis,

L0:unless expenditures justify a more frequent submission.

L1:(2) The Government need not make progress payments for invoices aggregating

L0:less than \$5,000.

L1:(3) The Contracting Officer shall approve progress payments based on the

L0:value, computed on the price of the job order, of labor and materials incorporated in the

L0:work, materials suitably stored at the site of the work, and preparatory work completed,

L0:less the aggregate of any previous payments.

L1:(4) Upon request, the Contractor will furnish the Contracting Officer any

L0:reports concerning expenditures on the work to date that the Contracting Officer may

L0:require.

L1:(c) The Government will retain until final completion and acceptance of all work

L0:covered by the job order, an amount estimated or approved by the Contracting Officer

L0:under paragraph (b) of this clause. The amount retained will be in accordance with the

L0:rate authorized by Congress for Naval vessel repair contracts at the time of job order

L0:award.

L1:(d) The Contracting Officer may direct that progress payments be based on the price

L0:of the job order as adjusted as a result of change orders under the Changes clause of the

L0:Master Agreement. If the Contracting Officer does not so direct?

L1:(1) Payments of any increases shall be made from time to time after the amount

L0:of the increase is determined under the Changes clause of the Master Agreement; and

L1:(2) Reductions resulting from decreases shall be made for the purposes of

L0:subsequent progress payments as soon as the amounts are determined under the

L0:Changes clause of the Master Agreement.

L1:(e) Upon completion of the work under a job order and final inspection and

L0:acceptance, and upon submission of invoices in such form and with such copies as the

L0:Contracting Officer may prescribe, the Contractor shall be paid for the price of the job

L0:order, as adjusted pursuant to the Changes clause of the Master Agreement, less any

L0:performance reserves deemed necessary by the Contracting Officer, and less the

L0:amount of any previous payments.

L1:(f) All materials, equipment, or any other property or work in process covered by the
L0:progress payments made by the Government, upon the making of those progress
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217
L0:payments, shall become the sole property of the Government, and are subject to the
L0:provisions of the Title clause of the Master Agreement.
L0:(End of clause)

252.217-7008 Bonds

Status: active

L0:252.217-7008 Bonds.

L0:As prescribed in 217.7104(a), use the following clause:

L0:BONDS (DEC 1991)

L1:(a) If the solicitation requires an offeror to submit a bid bond, the Offeror may
L0:furnish, instead, an annual bid bond (or evidence thereof) or an annual performance
L0:and payment bond (or evidence thereof).
L1:(b) If the solicitation does not require a bid bond, the Offeror shall not include in the
L0:price any contingency to cover the premium of such a bond.
L1:(c) Even if the solicitation does not require bonds, the Contracting Officer may
L0:nevertheless require a performance and payment bond, in form, amount, and with a
L0:surety acceptable to the Contracting Officer. Where performance and payment bond is
L0:required, the offer price shall be increased upon the award of the job order in an amount
L0:not to exceed the premium of a corporate surety bond.
L1:(d) If any surety upon any bond furnished in connection with a job order under this
L0:agreement fails to submit requested reports as to its financial condition or otherwise
L0:becomes unacceptable to the Government, the Contracting Officer may require the
L0:Contractor to furnish whatever additional security the Contracting Officer determines
L0:necessary to protect the interests of the Government and of persons supplying labor or
L0:materials in the performance of the work contemplated under the Master Agreement.
L0:(End of clause)

252.217-7009 Default

Status: active

L0:252.217-7009 Default.

L0:As prescribed in 217.7104(a), use the following clause:

L0:DEFAULT (DEC 1991)

L1:(a) The Government may, subject to the provisions of paragraph (b) of this clause,
L0:by written notice of default to the Contractor, terminate the whole or any part of a job
L0:order if the Contractor fails to?
L1:(1) Make delivery of the supplies or to perform the services within the time
L0:specified in a job order or any extension;

L1:(2) Make progress, so as to endanger performance of the job order; or
L1:(3) Perform any of the other provisions of this agreement or a job order.
L1:(b) Except for defaults of subcontractors, the Contractor shall not be liable for any
L0:excess costs if failure to perform the job order arises from causes beyond the control and
L0:without the fault or negligence of the Contractor. Examples of such causes include acts
L0:of God or of the public enemy, acts of the Government in either its sovereign or
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217
L0:contractual capacity, fires, floods, epidemics, quarantine restrictions, strikes, freight
L0:embargoes, and unusually severe weather.
L1:(c) If the Contractor's failure to perform is caused by the default of a subcontractor,
L0:and if such default arises out of causes beyond the control of both the Contractor and
L0:subcontractor, and without the fault or negligence of either, the Contractor shall not be
L0:liable for any excess costs for failure to perform, unless the supplies or services to be
L0:furnished by the subcontractor were obtainable from other sources in sufficient time to
L0:permit the Contractor to perform the job order within the time specified.
L1:(d) If the Government terminates the job order in whole or in part as provided in
L0:paragraph (a) of this clause?
L1:(1) The Government may, upon such terms and in such manner as the
L0:Contracting Officer may deem appropriate, arrange for the completion of the work so
L0:terminated, at such plant or plants, including that of the Contractor, as may be
L0:designated by the Contracting Officer.
L1:(i) The Contractor shall continue the performance of the job order to the
L0:extent not terminated under the provisions of this clause.
L1:(ii) If the work is to be completed at the plant, the Government may use all
L0:tools, machinery, facilities, and equipment of the Contractor determined by the
L0:Contracting Office to be necessary for that purpose.
L1:(iii) If the cost to the Government of the work procured or completed (after
L0:adjusting such cost to exclude the effect of changes in the plans and specifications made
L0:subsequent to the date of termination) exceeds the price fixed for work under the job
L0:order (after adjusting such price on account of changes in the plans and specifications
L0:made before the date of termination), the Contractor, or the Contractor's surety, if any,
L0:shall be liable for such excess.
L1:(2) The Government, in addition to any other rights provided in this clause,
L0:may require the Contractor to transfer title and delivery to the Government, in the
L0:manner and to the extent directed by the Contracting Officer, any completed supplies
L0:and such partially completed supplies and materials, parts, tools, dies, jigs, fixtures,
L0:plans, drawings, information and contract rights (hereinafter called "manufacturing
L0:materials") as the Contractor has specifically produced or specifically acquired for the
L0:performance of the terminated part of the job order.
L1:(i) The Contractor shall, upon direction of the Contracting Officer, protect
L0:and preserve property in possession of the Contractor in which the Government has an
L0:interest.
L1:(ii) The Government shall pay to the Contractor the job order price for
L0:completed items of work delivered to and accepted by the Government, and the amount

L0:agreed upon by the Contractor and the Contracting Officer for manufacturing materials
L0:delivered to and accepted by the Government, and for the protection and preservation of
L0:property. Failure to agree shall be a dispute concerning a question of fact within the
L0:meaning of the Disputes clause.

L1:(e) If, after notice of termination of the job order, it is determined that the
L0:Contractor was not in default, or that the default was excusable, the rights and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217

L0:obligations of the parties shall be the same as if the notice of termination had been
L0:issued for the convenience of the Government.

L1:(f) If the Contractor fails to complete the performance of a job order within the time
L0:specified, or any extension, the actual damage to the Government for the delay will be
L0:difficult or impossible to determine.

L1:(1) In lieu of actual damage, the Contractor shall pay to the Government as
L0:fixed, agreed, and liquidated damages for each calendar day of delay the amount, if any,
L0:set forth in the job order (prorated to the nearest hour for fractional days).

L1:(2) If the Government terminates the job order, the Contractor shall be liable, in
L0:addition to the excess costs provided in paragraph (d) of this clause, for liquidated
L0:damages accruing until such time as the Government may reasonably obtain
L0:completion of the work.

L1:(3) The Contractor shall not be charged with liquidated damages when the
L0:delay arises out of causes beyond the control and without the fault or negligence of the
L0:Contractor. Subject to the provisions of the Disputes clause of the Master Agreement,
L0:the Contracting Officer shall ascertain the facts and the extent of the delay and shall
L0:extend the time for performance when in the judgment of the Contracting Officer, the
L0:findings of fact justify an extension.

L1:(g) The rights and remedies of the Government provided in this clause shall not be
L0:exclusive and are in addition to any other rights and remedies provided by law under
L0:this agreement.

252.217-7010 Performance

Status: active

L0:252.217-7010 Performance.

L0:As prescribed in 217.7104(a), use the following clause:

L0:(End of clause)

L0:PERFORMANCE (JUL 2009)

L1:(a) Upon the award of a job order, the Contractor shall promptly start the work
L0:specified and shall diligently prosecute the work to completion. The Contractor shall
L0:not start work until the job order has been awarded except in the case of emergency
L0:work ordered by the Contracting Officer under the Job Orders and Compensation
L0:clause of the Master Agreement.

L1:(b) The Government shall deliver the vessel described in the job order at the time
L0:and location specified in the job order. Upon completion of the work, the Government

L0:shall accept delivery of the vessel at the time and location specified in the job order.

L1:(c) The Contractor shall, without charge and without specific requirement in a job

L0:order?

L1:(1) Make available at the plant to personnel of the vessel while in dry dock or on

L0:a marine railway, sanitary lavatory and similar facilities acceptable to the Contracting

L0:Officer;

L1:(2) Supply and maintain suitable brows and gangways from the pier, dry dock,

L0:or marine railway to the vessel;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L1:(3) Treat salvage, scrap or other ship's material of the Government resulting

L0:from performance of the work as items of Government-furnished property, in

L0:accordance with the Government Property clause;

L1:(4) Perform, or pay the cost of, any repair, reconditioning or replacement made

L0:necessary as the result of the use by the Contractor of any of the vessel's machinery,

L0:equipment or fittings, including, but not limited to, winches, pumps, rigging, or

L0:pipelines; and

L1:(5) Furnish suitable offices, office equipment and telephones at or near the site

L0:of the work for the Government's use.

L1:(d) The job order will state whether dock and sea trials are required to determine

L0:whether or not the Contractor has satisfactorily performed the work.

L1:(1) If dock and sea trials are required, the vessel shall be under the control of

L0:the vessel's commander and crew.

L1:(2) The Contractor shall not conduct dock and sea trials not specified in the job

L0:order without advance approval of the Contracting Officer. Dock and sea trials not

L0:specified in the job order shall be at the Contractor's expense and risk.

L1:(3) The Contractor shall provide and install all fittings and appliances

L0:necessary for dock and sea trials. The Contractor shall be responsible for care,

L0:installation, and removal of instruments and apparatus furnished by the Government

L0:for use in the trials.

252.217-7011 Access to Vessel

Status: active

L0:252.217-7011 Access to Vessel.

L0:As prescribed at 217.7104(a), use the following clause:

L0:(End of clause)

L0:ACCESS TO VESSEL (DEC 1991)

L1:(a) Upon the request of the Contracting Officer, the Contractor shall grant

L0:admission to the Contractor's facilities and access to vessel, on a non-interference basis,

L0:as necessary to perform their respective responsibilities, to a reasonable number of:

L1:(1) Government and other Government contractor employees (in addition to

L0:those Government employees attached to the vessel); and

L1:(2) Representatives of offerors on other contemplated Government work.

L1:(b) All personnel granted access shall comply with Contractor rules governing
L0:personnel at its shipyard.
L0:(End of clause)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217

252.217-7012 Liability and Insurance

Status: active

L0:252.217-7012 Liability and Insurance.

L0:As prescribed in 217.7104(a), use the following clause:

L0:LIABILITY AND INSURANCE (AUG 2003)

L1:(a) The Contractor shall exercise its best efforts to prevent accidents, injury, or
L0:damage to all employees, persons, and property, in and about the work, and to the
L0:vessel or part of the vessel upon which work is done.

L1:(b) Loss or damage to the vessel, materials, or equipment.

L1:(1) Unless otherwise directed or approved in writing by the Contracting Officer,
L0:the Contractor shall not carry insurance against any form of loss or damage to the
L0:vessel(s) or to the materials or equipment to which the Government has title or which
L0:have been furnished by the Government for installation by the Contractor. The
L0:Government assumes the risks of loss of and damage to that property.

L1:(2) The Government does not assume any risk with respect to loss or damage
L0:compensated for by insurance or otherwise or resulting from risks with respect to which
L0:the Contractor has failed to maintain insurance, if available, as required or approved by
L0:the Contracting Officer.

L1:(3) The Government does not assume risk of and will not pay for any costs of
L0:the following:

L1:(i) Inspection, repair, replacement, or renewal of any defects in the vessel(s)
L0:or material and equipment due to?
L0:subcontractors;

L1:(A) Defective workmanship performed by the Contractor or its
L0:subcontracts; or

L1:(B) Defective materials or equipment furnished by the Contractor or its

L1:(C) Workmanship, materials, or equipment which do not conform to the
L0:requirements of the contract, whether or not the defect is latent or whether or not the
L0:nonconformance is the result of negligence.

L1:(ii) Loss, damage, liability, or expense caused by, resulting from, or incurred
L0:as a consequence of any delay or disruption, willful misconduct or lack of good faith by
L0:the Contractor or any of its representatives that have supervision or direction of?

L1:(A) All or substantially all of the Contractor's business; or

L1:(B) All or substantially all of the Contractor's operation at any one
L0:plant.

L1:(4) As to any risk that is assumed by the Government, the Government shall be
L0:subrogated to any claim, demand or cause of action against third parties that exists in

L0:favor of the Contractor. If required by the Contracting Officer, the Contractor shall

L0:execute a formal assignment or transfer of the claim, demand, or cause of action.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L1:(5) No party other than the Contractor shall have any right to proceed directly

L0:against the Government or join the Government as a co-defendant in any action.

L1:(6) Notwithstanding the foregoing, the Contractor shall bear the first \$50,000 of

L0:loss or damage from each occurrence or incident, the risk of which the Government

L0:would have assumed under the provisions of this paragraph (b).

L1:(c) Indemnification. The Contractor indemnifies the Government and the vessel

L0:and its owners against all claims, demands, or causes of action to which the

L0:Government, the vessel or its owner(s) might be subject as a result of damage or injury

L0:(including death) to the property or person of anyone other than the Government or its

L0:employees, or the vessel or its owner, arising in whole or in part from the negligence or

L0:other wrongful act of the Contractor or its agents or employees, or any subcontractor, or

L0:its agents or employees.

L1:(1) The Contractor's obligation to indemnify under this paragraph shall not

L0:exceed the sum of \$300,000 as a consequence of any single occurrence with respect to

L0:any one vessel.

L1:(2) The indemnity includes, without limitation, suits, actions, claims, costs, or

L0:demands of any kind, resulting from death, personal injury, or property damage

L0:occurring during the period of performance of work on the vessel or within 90 days after

L0:redelivery of the vessel. For any claim, etc., made after 90 days, the rights of the parties

L0:shall be as determined by other provisions of this agreement and by law. The

L0:indemnity does apply to death occurring after 90 days where the injury was received

L0:during the period covered by the indemnity.

L1:(d) Insurance.

L1:(1) The Contractor shall, at its own expense, obtain and maintain the following

L0:insurance?

L1:(i) Casualty, accident, and liability insurance, as approved by the

L0:Contracting Officer, insuring the performance of its obligations under paragraph (c) of

L0:this clause.

L1:(ii) Workers Compensation Insurance (or its equivalent) covering the

L0:employees engaged on the work.

L1:(2) The Contractor shall ensure that all subcontractors engaged on the work

L0:obtain and maintain the insurance required in paragraph (d)(1) of this clause.

L1:(3) Upon request of the Contracting Officer, the Contractor shall provide

L0:evidence of the insurance required by paragraph (d) of this clause.

L1:(e) The Contractor shall not make any allowance in the job order price for the

L0:inclusion of any premium expense or charge for any reserve made on account of self-

L0:insurance for coverage against any risk assumed by the Government under this clause.

L1:(f) The Contractor shall give the Contracting Officer written notice as soon as

L0:practicable after the occurrence of a loss or damage for which the Government has

L0:assumed the risk.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L1:(1) The notice shall contain full details of the loss or damage.

L1:(2) If a claim or suit is later filed against the Contractor as a result of the event,

L0:the Contractor shall immediately deliver to the Government every demand, notice,

L0:summons, or other process received by the Contractor or its employees or

L0:representatives.

L1:(3) The Contractor shall cooperate with the Government and, upon request,

L0:shall assist in effecting settlements, securing and giving evidence, obtaining the

L0:attendance of witnesses, and in the conduct of suits. The Government shall reimburse

L0:the Contractor for expenses incurred in this effort, other than the cost of maintaining

L0:the Contractor's usual organization.

L1:(4) The Contractor shall not, except at its own expense, voluntarily make any

L0:payment, assume any obligation, or incur any expense other than what would be

L0:imperative for the protection of the vessel(s) at the time of the event.

L1:(g) In the event of loss of or damage to any vessel(s), material, or equipment which

L0:may result in a claim against the Government under the insurance provisions of this

L0:contract, the Contractor shall promptly notify the Contracting Officer of the loss or

L0:damage. The Contracting Officer may, without prejudice to any other right of the

L0:Government, either?

L1:(1) Order the Contractor to proceed with replacement or repair, in which event

L0:the Contractor shall effect the replacement or repair;

L1:(i) The Contractor shall submit to the Contracting Officer a request for

L0:reimbursement of the cost of the replacement or repair together with whatever

L0:supporting documentation the Contracting Officer may reasonably require, and shall

L0:identify the request as being submitted under the Insurance clause of the agreement.

L1:(ii) If the Government determines that the risk of the loss or damage is

L0:within the scope of the risks assumed by the Government under this clause, the

L0:Government will reimburse the Contractor for the reasonable, allowable cost of the

L0:replacement or repair, plus a reasonable profit (if the work or replacement or repair was

L0:performed by the Contractor) less the deductible amount specified in paragraph (b) of

L0:this clause.

L1:(iii) Payments by the Government to the Contractor under this clause are

L0:outside the scope of and shall not affect the pricing structure of the contract, and are

L0:additional to the compensation otherwise payable to the Contractor under this contract;

L0:or

L1:(2) In the event the Contracting Officer decides that the loss or damage shall

L0:not be replaced or repaired, the Contracting Officer shall?

L1:(i) Modify the contract appropriately, consistent with the reduced

L0:requirements reflected by the unreplaced or unrepaired loss or damage; or

L1:(ii) Terminate the repair of any part or all of the vessel(s) under the

L0:Termination for Convenience of the Government clause of this agreement.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

252.217-7013 Guarantees

Status: active

L0:252.217-7013 Guarantees.

L0:As prescribed in 217.7104(a), use the following clause:

L0:GUARANTEES (DEC 1991)

L1:(a) In the event any work performed or materials furnished by the contractor under L0:the Master Agreement prove defective or deficient within 90 days from the date of L0:redelivery of the vessel(s), the Contractor, as directed by the Contracting Officer and at L0:its own expense, shall correct and repair the deficiency to the satisfaction of the L0:Contracting Officer.

L1:(b) If the Contractor or any subcontractor has a guarantee for work performed or L0:materials furnished that exceeds the 90 day period, the Government shall be entitled to L0:rely upon the longer guarantee until its expiration.

L1:(c) With respect to any individual work item identified as incomplete at the time of L0:redelivery of the vessel(s), the guarantee period shall run from the date the item is L0:completed.

L1:(d) If practicable, the Government shall give the Contractor an opportunity to L0:correct the deficiency.

L1:(1) If the Contracting Officer determines it is not practicable or is otherwise not L0:advisable to return the vessel(s) to the Contractor, or the Contractor fails to proceed L0:with the repairs promptly, the Contracting Officer may direct that the repairs be L0:performed elsewhere, at the Contractor's expense.

L1:(2) If correction and repairs are performed by other than the Contractor, the L0:Contracting Officer may discharge the Contractor's liability by making an equitable L0:deduction in the price of the job order.

L1:(e) The Contractor's liability shall extend for an additional 90 day guarantee period L0:on those defects or deficiencies that the Contractor corrected.

L1:(f) At the option of the Contracting Officer, defects and deficiencies may be left L0:uncorrected. In that event, the Contractor and Contracting Officer shall negotiate an L0:equitable reduction in the job price. Failure to agree upon an equitable reduction shall L0:constitute a dispute under the Disputes clause of this agreement.

252.217-7014 Discharge of Liens

Status: active

L0:252.217-7014 Discharge of Liens.

L0:As prescribed in 217.7104(a), use the following clause:

L0:(End of clause)

L0:DISCHARGE OF LIENS (DEC 1991)

L1:(a) The Contractor shall immediately discharge, or cause to be discharged, any lien L0:or right in rem of any kind, other than in favor of the Government, that exists or arises L0:in connection with work done or material furnished under any job order under this L0:agreement.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L1:(b) If any lien or right in rem is not immediately discharged, the Government, at the

L0:expense of the Contractor, may discharge, or cause to be discharged, the lien or right.

252.217-7015 Safety and Health

Status: active

L0:252.217-7015 Safety and Health.

L0:As prescribed in 217.7104(a), use the following clause:

L0:(End of clause)

L0:SAFETY AND HEALTH (DEC 1991)

L0:Nothing contained in the Master Agreement or any job order shall relieve the

L0:Contractor of any obligations it may have to comply with?

L1:(a) The Occupational Safety and Health Act of 1970 (29 U.S.C. 651, et seq.);

L1:(b) The Safety and Health Regulations for Ship Repairing (29 CFR 1915); or

L1:(c) Any other applicable Federal, State, and local laws, codes, ordinances, and

L0:regulations.

252.217-7016 Plant Protection

Status: active

L0:252.217-7016 Plant Protection.

L0:As prescribed in 217.7104(a), use the following clause:

L0:(End of clause)

L0:PLANT PROTECTION (DEC 1991)

L1:(a) The Contractor shall provide, for the plant and work in process, reasonable

L0:safeguards against all hazards, including unauthorized entry, malicious mischief, theft,

L0:vandalism, and fire.

L1:(b) The Contractor shall also provide whatever additional safeguards are necessary

L0:to protect the plant and work in process from espionage, sabotage, and enemy action.

L1:(1) The Government shall reimburse the Contractor for that portion of the costs

L0:of the additional safeguards that is allocable to the contract in the same manner as if

L0:the Contracting Officer had issued a change order for the additional safeguards.

L1:(2) The costs reimbursed shall not include any overhead allowance, unless the

L0:overhead is incident to the construction or installation of necessary security devices or

L0:equipment.

L1:(c) Upon payment by the Government of the cost of any device or equipment

L0:required or approved under paragraph (b) of this clause, title shall vest in the

L0:Government.

L1:(1) The Contractor shall comply with the instructions of the Contracting Officer

L0:concerning its identification and disposition.

L1:(2) No such device or equipment shall become a fixture as a result of its being

L0:affixed to realty not owned by the Government.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

252.217-7026 Identification of Sources of Supply

Status: active

L0:252.217-7026 Identification of Sources of Supply.

L0:As prescribed in 217.7303, use the following provision:

L0:IDENTIFICATION OF SOURCES OF SUPPLY (JAN 2023)

L1:(a) The Government is required under 10 U.S.C. 4753 to obtain certain information

L0:on the actual manufacturer or sources of supplies it acquires.

L1:(b) The apparently successful Offeror agrees to complete and submit the following

L0:table before award:

L0:TABLE

L0:Line

L0:Items

L1:(1)

L0:_____

L0:Stock

L0:Number

L0:National Commercial

L0:Product or

L0:Commercial

L0:Service

L0:(Y or N)

L1:(3)

L0:_____

L1:(2)

L0:_____

L0:Source of Supply

L0:Company Address Part No.

L0:Actual

L0:Mfg?

L1:(4)

L0:_____

L1:(4)

L0:_____

L1:(5)

L1:(6)

L0:_____

L1:(1) List each deliverable item of supply and item of technical data.

L1:(2) If there is no national stock number, list ?none?.

L1:(3) Use ?Y? if the item is a commercial product or commercial service;
 L0:otherwise use ?N.? If ?Y? is listed, the Offeror need not complete the remaining
 L0:columns in the table.

L1:(4) For items of supply, list all sources. For technical data, list the source.

L1:(5) For items of supply, list each source's part number for the item.

L1:(6) Use ?Y? if the source of supply is the actual manufacturer; ?N? if it is not;
 L0:and ?U? if unknown.

252.217-7027 Contract Definitization

Status: active

L0:252.217-7027 Contract Definitization.

L0:As prescribed in 217.7406(b), use the following clause:

L0:(End of provision)

L0:CONTRACT DEFINITIZATION (MAY 2023)

L1:(a) A _____ [insert specific type of contract action] is contemplated. The

L0:Contractor agrees to begin promptly negotiating with the Contracting Officer the terms

L0:of a definitive contract that will include?

L1:(1) All clauses required by the Federal Acquisition Regulation (FAR) on the

L0:date of execution of the undefinitized contract action;

L1:(2) All clauses required by law on the date of execution of the definitive contract

L0:action; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L1:(3) Any other mutually agreeable clauses, terms, and conditions.

L1:(b) The Contractor agrees to submit a _____ [insert type of proposal; e.g.,

L0:fixed-price or cost-and-fee] proposal and certified cost or pricing data supporting its

L0:proposal. Notwithstanding FAR 52.216-26, Payments of Allowable Costs Before

L0:Definitization, failure to meet the qualifying proposal date in the contract definitization

L0:schedule could result in the Contracting Officer withholding an amount up to 5 percent

L0:of all subsequent requests for financing until the Contracting Officer determines that a

L0:proposal is qualifying.

L1:(c) The schedule for definitizing this contract action is as follows [insert target date

L0:for definitization of the contract action and dates for submission of proposal, beginning

L0:of negotiations, and, if appropriate, submission of the make-or-buy and subcontracting

L0:plans and certified cost or pricing data]:

L1:(d) If agreement on a definitive contract action to supersede this undefinitized

L0:contract action is not reached by the target date in paragraph (c) of this clause, or

L0:within any extension of it granted by the Contracting Officer, the Contracting Officer

L0:may, with the approval of the head of the contracting activity, determine a reasonable

L0:price or fee in accordance with FAR subpart 15.4 and part 31, subject to Contractor

L0:appeal as provided in the Disputes clause. In any event, the Contractor shall proceed

L0:with completion of the contract, subject only to the Limitation of Government Liability

L0:clause.

L1:(1) After the Contracting Officer's determination of price or fee, the contract

L0:shall be governed by?

L1:(i) All clauses required by the FAR on the date of execution of this

L0:undefinitized contract action for either fixed-price or cost-reimbursement contracts, as

L0:determined by the Contracting Officer under this paragraph (e);

L1:(ii) All clauses required by law as of the date of the Contracting Officer's

L0:determination; and

L1:(iii) Any other clauses, terms, and conditions mutually agreed upon.

L1:(2) To the extent consistent with paragraph (d)(1) of this clause, all clauses,

L0:terms, and conditions included in this undefinitized contract action shall continue in

L0:effect, except those that by their nature apply only to an undefinitized contract action.

L1:(e) The definitive contract resulting from this undefinitized contract action will

L0:include a negotiated _____ [insert "cost/price ceiling" or "firm-fixed price"]

L0:in no event to exceed _____ [insert the not-to-exceed amount].

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

252.217-7028 Over and Above Work

Status: active

L0:252.217-7028 Over and Above Work.

L0:As prescribed in 217.7702, use a clause substantially as follows:

L0:OVER AND ABOVE WORK (DEC 1991)

L1:(a) Definitions. As used in this clause?

L1:(1) "Over and above work" means work discovered during the course of

L0:performing overhaul, maintenance, and repair efforts that is?

L1:(i) Within the general scope of the contract;

L1:(ii) Not covered by the line item(s) for the basic work under the contract;

L0:and

L1:(iii) Necessary in order to satisfactorily complete the contract.

L1:(2) "Work request" means a document prepared by the Contractor which

L0:describes over and above work being proposed.

L1:(b) The Contractor and Administrative Contracting Officer shall mutually agree to

L0:procedures for Government administration and Contractor performance of over and

L0:above work requests. If the parties cannot agree upon the procedures, the

L0:Administrative Contracting Officer has the unilateral right to direct the over and above

L0:work procedures to be followed. These procedures shall, as a minimum, cover?

L1:(1) The format, content, and submission of work requests by the Contractor.

L0:Work requests shall contain data on the type of discrepancy disclosed, the specific

L0:location of the discrepancy, and the estimated labor hours and material required to

L0:correct the discrepancy. Data shall be sufficient to satisfy contract requirements and

L0:obtain the authorization of the Contracting Officer to perform the proposed work;

L1:(2) Government review, verification, and authorization of the work; and
L1:(3) Proposal pricing, submission, negotiation, and definitization.
L1:(c) Upon discovery of the need for over and above work, the Contractor shall prepare
L0:and furnish to the Government a work request in accordance with the agreed-to
L0:procedures.
L1:(d) The Government shall?
L1:(1) Promptly review the work request;
L1:(2) Verify that the proposed work is required and not covered under the basic
L0:contract line item(s);
L1:(3) Verify that the proposed corrective action is appropriate; and
L1:(4) Authorize over and above work as necessary.
L1:(e) The Contractor shall promptly submit to the Contracting Officer, a proposal for
L0:the over and above work. The Government and Contractor will then negotiate a
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217
L0:settlement for the over and above work. Contract modifications will be executed to
L0:definitize all over and above work.
L1:(f) Failure to agree on the price of over and above work shall be a dispute within the
L0:meaning of the Disputes clause of this contract.
L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
L0:Defense FAR Supplement (DFARS) Part 217

L0:PGI 217?SPECIAL CONTRACTING METHODS

L0:PGI 217.1?MULTIYEAR CONTRACTING

L0:PGI 217.103-171 Multiyear contracts for services.
L1:(b) The head of the agency must consider the following principles when entering into a
L0:multiyear contract for services:
L1:(1) The portion of the cost of any plant or equipment amortized as a cost of contract
L0:performance should not exceed the ratio between the period of contract performance and
L0:the anticipated useful commercial life of the plant or equipment. As used in this section,
L0:"useful commercial life" means the commercial utility of the facilities rather than the physical
L0:life, with due consideration given to such factors as the location, specialized nature, and
L0:obsolescence of the facilities.
L1:(2) The desirability of obtaining an option to extend the term of the contract for a
L0:reasonable period not to exceed 3 years at prices that do not include charges for plant,
L0:equipment, or other nonrecurring costs already amortized.
L1:(3) The desirability of reserving the right to take title, under the appropriate
L0:circumstances, to the plant or equipment upon payment of the unamortized portion of the
L0:cost (10 U.S.C. 3531(c)).
L0:PGI 217.103-174 Multiyear contracts for electricity from renewable energy sources.
L0:The business case analysis template and guidance for the head of the contracting activity
L0:determination to enter into a contract for a period in excess of 5 years is available here:
L0:Renewable Electricity Acquisition Business Case Analysis Template and Guidance.
L0:PGI 217.104-370 Congressional notification.

L2:(b)(1) The head of the agency must submit a copy of each notice to the Principal
 L0:Director, Defense Pricing, Contracting, and Acquisition Policy (DPCAP), Office of the Under
 L0:Secretary of Defense (Acquisition and Sustainment) (OUSD(A&S)), and to the Deputy
 L0:Under Secretary of Defense (Comptroller) (Program/Budget) (OUSD(C)(P/B)).

L2:(2)(i) DoD will include the request, for each candidate it supports, as part of the
 L0:President's Budget for that year and in the Appendix to that budget as part of proposed
 L0:legislative language for the appropriations bill for that year (section 8008(b) of Pub. L. 105-
L0:56).

L1:(ii) If the advisability of using a multiyear contract becomes apparent too late to
 L0:satisfy the requirements 217.170(b)(2), the request for authority to use a multiyear contract
 L0:must be?

L1:(A) Formally submitted by the President as a budget amendment; or
 L0:defense committees (section 8008(b) of Pub. L. 105-56).

L1:(B) Made by the Secretary of Defense, in writing, to the congressional
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17
 L0:Defense FAR Supplement (DFARS) Part 217

L1:(iii) If the budget for a contract that contains a cancellation ceiling in excess of
 L0:\$200 million does not include proposed funding for the costs of contract cancellation up to
 L0:the cancellation ceiling established in the contract?
 L0:include?

L1:(A) The notification required by paragraph (b)(1) of this section must
 L0:the proposed multiyear contract, together with the reasons for the amounts planned;

L1:(1) The cancellation ceiling amounts planned for each program year in
 L0:in the budget for the contract; and

L1:(2) The extent to which costs of contract cancellation are not included
 L0:contract cancellation (10 U.S.C. 3501(g) and 10 U.S.C. 3531(d)); and

L1:(3) A financial risk assessment of not including budgeting for costs of

L1:(B) The head of the agency must provide copies of the notification to the
 L0:Office of Management and Budget at least 14 days before contract award.

L0:PGI 217.2?OPTIONS

L0:PGI 217.201 Presolicitation.

L0:PGI 217.201-170 Use of options.

L1:(1) Options may be used for foreign military sales requirements.

L1:(2) Consider use of surge options to support industrial capability. A surge option allows
 L0:the Government, prior to final delivery, to?

L1:(i) Accelerate the contractor's production rate in accordance with a surge production
 L0:plan or a delivery schedule provided by the contractor under the terms of the contract; and

L1:(ii) Purchase additional quantities of supplies or services.

L1:(3) See DFARS Subpart 217.74 for limitations on the use of undefinitized options.

L0:PGI 217.204 Postaward.

L0:PGI 217.204-170 Exercise of options.

L0:Before exercising an option for firm-fixed-price contracts containing spare parts, the
 L0:contracting officer must perform a cost or price analysis of the proposed spare parts. The
 L0:contracting officer must use an appropriate sampling technique or request field pricing

L0:assistance and document the contract file with the results of the cost or price analysis.

L0:PGI 217.5?INTERAGENCY ACQUISITIONS

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L0:PGI 217.502 Procedures.

L0:PGI 217.502-1 General.

L1:(a) Written agreement on responsibility for management and administration?

L1:(1) Assisted acquisitions. When the contracting activity of one DoD Component

L0:provides acquisition assistance to deployed units or personnel from another DoD

L0:Component?

L1:(A) The written interagency agreement between the servicing DoD Component

L0:and the requesting DoD Component, required by FAR 17.502-1(a)(1), must be documented

L0:on the FS Form 7600A, United States Government Interagency Agreement (see template at

L0:<https://www.fiscal.treasury.gov/files/forms/form-7600a.pdf>);

L1:(B) Procurement support should be on a nonreimbursable basis, unless the

L0:parties mutually agree, in writing, for reimbursable support; and

L1:(C) The DD Form 448, Military Interdepartmental Purchase Request (MIPR),

L0:must be used to provide a description of the supplies/services and certification of funds

L0:available to support the requirement.

L0:PGI 217.503 Ordering procedures.

L0:When the requesting agency is within DoD, a copy of the executed determination and

L0:findings required by FAR 17.502-2 must be furnished to the servicing agency as an

L0:attachment to the order. When a DoD contracting office is acting as the servicing agency, a

L0:copy of the executed determination and findings must be obtained from the requesting

L0:agency and placed in the contract file for the Economy Act order.

L0:PGI 217.6?INTERAGENCY ACQUISITIONS: ACQUISITIONS BY NONDEFENSE

L0:AGENCIES ON BEHALF OF THE DEPARTMENT OF DEFENSE

L0:PGI 217.670 Procedures.

L3:(a)(3)(i) Departments and agencies must ensure full awareness of the total costs of all

L0:fees associated with use of a non-DoD contracting vehicle. To ensure full awareness, the

L0:DoD acquisition official must require the servicing agency to?

L1:(A) Provide notification if its acquisition approach will use another agency?s

L0:contract vehicle; and

L1:(B) Identify all fees (direct and indirect) associated with the assisted acquisition.

L1:(ii) The DoD acquisition official must document in the business decision the

L0:rationale to continue with the assisted acquisition given the total fees (direct and indirect)

L0:involved.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L0:PGI 217.70?EXCHANGE OF PERSONAL PROPERTY

L0:PGI 217.7003 Purchase request.

L0:Ensure that the requiring activity provides all of the following in support of the purchase

L0:request?

L1:(a) A certification that the property is eligible for exchange and complies with all

L0:conditions and limitations of DoD Manual 4140.01, Volume 9, DoD Supply Chain Materiel

L0:Management Procedures: Materiel Programs.

L1:(b) A written determination of economic advantage indicating?

L1:(1) The anticipated economic advantage to the Government from use of the

L0:exchange authority;

L1:(2) That exchange allowances shall be applied toward, or in partial payment of, the

L0:items to be acquired; and

L1:(3) That, if required, the exchange property has been rendered safe or innocuous or

L0:has been demilitarized;

L1:(c) All applicable approvals for the exchange; and

L1:(d) A description of the property available for exchange (e.g., nomenclature, location,

L0:serial number, estimated travel value).

L0:PGI 217.7004 Solicitation and award.

L1:(a) Ensure solicitations require offerors to state prices?

L1:(1) For the new items being acquired without any exchange; and

L1:(2) For the new items with the exchange (trade-in allowance) for the exchange

L0:property listed.

L1:(b) The contracting officer is not obligated to award on an exchange basis. If the lowest

L0:evaluated offer is an offer for the new items without any exchange, the contracting officer

L0:may award on that basis and forgo the exchange.

L1:(c) Exchanges may be made only with the successful offeror. When the successful offer

L0:includes an exchange, award one contract for both the acquisition of the new property and

L0:the trade-in of the exchange property. The only exception is when the items must be

L0:acquired against a mandatory Federal supply schedule contract, in which case, award a

L0:separate contract for the exchange.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L0:PGI 217.71?MASTER AGREEMENT FOR REPAIR AND ALTERATION OF VESSELS

L0:PGI 217.7103 Master agreements and job orders.

L0:PGI 217.7103-1 Content and format of master agreements.

L1:(1) A master agreement must contain all clauses required by DFARS 217.7104(a),

L0:statute, and Executive order.

L1:(2) The following format may be adapted to fit specific circumstances:

L0:MASTER AGREEMENT FOR REPAIR AND ALTERATION OF VESSELS

L0:1. This agreement is entered into this ____ day of _____, _____,

L0:by the United States of America (the ?Government?;) represented by _____,

L0:the Contracting Officer, and _____, a corporation organized and

L0:existing under the laws of the State of _____ (the ?Contractor?;).

L0:2. The clauses in this agreement, must be incorporated, by reference or

L0:attachment, in job orders issued under this agreement to effect repairs, alterations, and/or

L0:additions to vessels.

L0:3. By giving 30 days written notice, either party to this agreement has the right to

L0:cancel it without affecting the rights and liabilities under any job order existing at the time of

L0:cancellation. The Contractor shall perform, under the terms of this agreement, all work

L0:covered by any job order awarded before the effective date of the cancellation.

L0:4. This agreement may be modified only by mutual agreement of the parties. A

L0:modification of this agreement must not affect any job order in existence at the time of

L0:modification, unless the parties agree otherwise.

L0:5. The rights and obligations of the parties to this agreement are set forth in this

L0:agreement and the clauses of any job orders issued under this agreement. In the event

L0:there is an inconsistency between this agreement and any job order, the provisions of this

L0:agreement shall govern.

L0:6. This agreement shall remain in effect until cancelled by either party.

L0:THE UNITED STATES OF AMERICA

L0:by

L0:(Contracting Officer)

L1:(Contractor)

L0:(Authorized Individual)

L1:(Title)

L0:by

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L0:PGI 217.7103-3 Solicitations for job orders.

L1:(1) Include in the solicitation?

L1:(i) The nature of the work to be performed;

L1:(ii) The date the vessel will be available to the contractor;

L1:(iii) The date the work is to be completed; and

L1:(iv) Whether bulk ammunition is aboard the vessel.

L1:(2) Unless the solicitation states otherwise, offers are to be based on performance at the

L0:contractor's site.

L1:(3) Solicitations processed under negotiated acquisition procedures must require

L0:offerors to include a breakdown of the price with reasonable supporting detail in whatever

L0:format and detail the contracting officer may request.

L1:(4) Where practicable, afford potential offerors an opportunity to inspect the item

L0:needing repair or alteration.

L0:PGI 217.7103-4 Emergency work.

L0:Process this type of undefinitized contract action in accordance with DFARS Subpart

L0:217.74. Negotiate a price as soon as practicable after the issuance of an undefinitized order

L0:and definitize the job order upon completing negotiations.

L0:PGI 217.7103-5 Repair costs not readily ascertainable.

L0:If the nature of any repairs is such that their extent and probable cost cannot be ascertained

L0:readily, the solicitation should?

L1:(1) Solicit offers for determining the nature and extent of the repairs;

L1:(2) Provide that upon determination by the contracting officer of what work is necessary,

L0:the contractor, if requested by the contracting officer, shall negotiate prices for performance

L0:of the repairs; and

L1:(3) Provide that prices for the repairs, if ordered, will be set forth in a modification of the

L0:job order.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L0:PGI 217.74?UNDEFINITIZED CONTRACT ACTIONS

L0:PGI 217.7404 Limitations.

L0:PGI 217.7404-1 Authorization.

L1:(1) The requiring activity, in coordination with the contracting office, prepares the request

L0:for approval package for an undefinitized contract action (UCA) requirement. The approval

L0:package must?

L1:(i) Document why a UCA is required (for letter contracts see DFARS 216.603);

L1:(ii) Provide a detailed explanation for the need to begin performance before

L0:definitization;

L1:(iii) Address the adverse impact on agency requirements that would result from

L0:delays in beginning performance;

L1:(iv) Identify the risk of using a UCA and the means by which the Government will

L0:mitigate such risk;

L1:(v) Identify and justify the specific contractual instrument to be used;

L1:(vi) Establish limitations on the obligation of funds; and

L1:(vii) Provide the definitization schedule of agreed-upon events that support timely

L0:definitization.

L1:(2) A sample format with certain variations for letter contracts is provided at this website:

L0:http://www.acq.osd.mil/dpap/dars/pgi/docs/Template_for_UCA_Authorization_Requests.pdf.

L0:PGI 217.7404-2 Price ceiling.

L1:(1) The rationale for the not-to-exceed price will be documented and retained in the

L0:contract file. Examples of such supporting rationale include?

L1:(i) The Independent Government Cost Estimate;

L1:(ii) Price analysis based on prior buys; and

L1:(iii) The contractor's proposal.

L1:(2) The maximum not-to-exceed price is the firm-fixed price for firm-fixed price contracts,

L0:the ceiling price for fixed-price incentive contracts, and the estimated cost and fee for cost-

L0:reimbursement contracts.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L0:PGI 217.7404-6 Allowable profit.

L0:To improve the documentation and provide guidance on determining the profit for UCAs with

L0:substantial incurred cost, contracting officers will follow the mandatory instructions at DFARS

215.409 regarding lowering contract type risk assessments for the incurred costs when

Status: active

L0:215.409 regarding lowering contract type risk assessments for the incurred costs when

L0:performing weighted guidelines analysis. Additional guidance on analyzing profit or fee is

L0:provided in DAU course, CON 7170V, Analyzing Profit or Fee, found at:

L0:<https://www.dau.edu/courses/con-7170v>.

L0:PGI 217.7405 Plans and reports.

L0:By October 31 and April 30 of each year, departments and agencies must prepare a

L0:Consolidated UCA Management Report, identifying each UCA/UCO with a value exceeding L0:\$5 million. In addition, departments and agencies must submit to the Office of the Principal L0:Director, Defense Pricing, Contracting, and Acquisition Policy (Contract Policy) a copy of the L0:record of weighted guidelines for each definitized UCA with a value of \$100 million or more. L0:If there is no record of weighted guidelines (e.g., not required for a cost plus award fee L0:contract per DFARS 215.409), then departments and agencies must submit alternative L0:documentation that addresses appropriate recognition of the contractor's reduced cost risk L0:during the undefinitized performance period. Submit the required information via email to

L0:PGI 217.75?ACQUISITION OF REPLENISHMENT PARTS

L0:PGI 217.7502 General.

L0:Replenishment parts must be acquired to ensure the safe, dependable, and effective L0:operation of the equipment. Where this assurance is not possible with new sources, L0:competition may be limited to the original manufacturer of the equipment or other sources L0:that have previously manufactured or furnished the parts if the action is justified. See

209.270 for requirements applicable to replenishment parts for aviation or ship critical safety

Status: active

L0:209.270 for requirements applicable to replenishment parts for aviation or ship critical safety L0:items.

L0:PGI 217.7503 Spares acquisition integrated with production.

L1:(1) Spares acquisition integrated with production (SAIP) is a technique used to acquire L0:replenishment parts concurrently with parts being produced for the end item.

L1:(2) Include appropriately tailored provisions in the contract when SAIP is used.

L0:PGI 217.7504 Acquisition of parts when data is not available.

L0:When acquiring a part for which the Government does not have necessary data with rights L0:to use in a specification or drawing for competitive acquisition, use one of the following L0:procedures:

L1:(1) When items of identical design are not required, the acquisition may still be L0:conducted through full and open competition by using a performance specification or other L0:similar technical requirement or purchase description that does not contain data with L0:restricted rights. Two methods are?

L1:(i) Two-step sealed bidding; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 17

L0:Defense FAR Supplement (DFARS) Part 217

L1:(ii) Brand name or equal purchase descriptions.

L1:(2) When other than full and open competition is authorized under FAR part 6, acquire L0:the part from the firm that developed or designed the item or process, or its licensees, L0:provided productive capacity and quality are adequate and the price is fair and reasonable.

L1:(3) When additional sources are needed and the procedures in paragraph (1) are not L0:practicable, consider the following alternatives:

L1:(i) Encourage the developer to license others to manufacture the parts;

L1:(ii) Acquire the necessary rights in data;

- L1:(iii) Use a leader company acquisition technique (FAR subpart 17.4) when complex
L0:technical equipment is involved and establishing satisfactory additional sources will require
L0:technical assistance as well as data; or
- L1:(iv) Incorporate a priced option in the contract that allows the Government to require
L0:the contractor to establish a second source.
- L1:(4) A design specification may be developed for competitive acquisition through reverse
L0:engineering. Contracting and requiring activities must not do reverse engineering unless?
- L1:(i) Significant cost savings can be demonstrated; and
- L1:(ii) The action is authorized by the head of the contracting activity.

L0:PGI 217.7506?SPARE PARTS BREAKOUT PROGRAM

PART 18

SUBPART 218.70 ? AVAILABLE ACQUISITION FLEXIBILITIES

Status: active

L0:SUBPART 218.70?AVAILABLE ACQUISITION FLEXIBILITIES

218.7001 Additional acquisition flexibilities

Status: active

L0:218.7001 Additional acquisition flexibilities.

L0:Additional acquisition flexibilities are available to DoD when supporting emergency

L0:acquisitions.

218.7001-1 General emergency flexibilities

Status: active

L0:218.7001-1 General emergency flexibilities.

L0:See the list of flexibilities at PGI 218.7001-1.

218.7001-2 Contingency operation

Status: active

L0:218.7001-2 Contingency operation.

L0:See the list of flexibilities at PGI 218.7001-2.

218.7001-3 Defense or recovery from certain events

Status: active

L0:218.7001-3 Defense or recovery from certain events.

L0:For acquisitions that, as determined by the head of the contracting activity, are to

L0:facilitate defense against or recovery from cyber, nuclear, biological, chemical, or

L0:radiological attack; to facilitate provision of international disaster assistance; or to

L0:support response to an emergency or major disaster, see the list of flexibilities at

L0:PGI 218.7001-3.

218.7001-4 Emergency declaration or major disaster declaration

Status: active

L0:218.7001-4 Emergency declaration or major disaster declaration.

L0:See the list of flexibilities at PGI 218.7001-4.

218.7001-5 Humanitarian or peacekeeping operation

Status: active

L0:218.7001-5 Humanitarian or peacekeeping operation.

L0:See the list of flexibilities at PGI 218.7001-5.

218.7001-6 Head of contracting activity determinations

Status: active

L0:218.7001-6 Head of contracting activity determinations.

L0:See PGI 218.7001-6 for delegations of authority.

218.7001-7 Use of electronic business tools

Status: active

L0:218.7001-7 Use of electronic business tools.

L0:When supporting a contingency operation or humanitarian or peacekeeping

L0:operation, follow the procedures at PGI 218.7001-7 concerning the use of electronic

L0:business tools.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 18

L0:Defense FAR Supplement (DFARS) Part 218

L0:PGI 218?EMERGENCY ACQUISITIONS

L0:PGI 218.70?AVAILABLE ACQUISITION FLEXIBILITIES

L0:PGI 218.7001 Additional acquisition flexibilities.

L0:PGI 218.7001-1 General emergency flexibilities.

L1:(a) Circumstances permitting other than full and open competition. Use of the authority

L0:at FAR 6.103-2, Unusual and compelling urgency, may be appropriate under certain

L0:circumstances. See PGI 206.

L1:(b) Use of advance Military Interdepartmental Purchase Request (MIPR). For

L0:urgent requirements, the advance MIPR may be transmitted electronically. See PGI

L0:208.

L1:(c) Use of the Governmentwide commercial purchase card. Governmentwide

L0:commercial purchase cards use is not required for purchases valued at or below the

L0:micro-purchase threshold if the place of performance is entirely outside the United

L0:States. See part 213.

L1:(d) Master agreement for repair and alteration of vessels. The contracting officer,

L0:without soliciting offers, may issue a written job order for emergency work to a

L0:contractor that has previously executed a master agreement, when delay would

L0:endanger a vessel, its cargo or stores, or when military necessity requires immediate

L0:work on a vessel. See part 217 and PGI 217.

L1:(e) Spare parts breakout program. An urgent immediate buy need not be delayed if

L0:an evaluation of the additional information cannot be completed in time to meet the

L0:required delivery date. See PGI 217.

L1:(f) Storage and disposal of toxic and hazardous materials. Under certain

L0:emergency situations, exceptions apply with regard to the prohibition on storage or
L0:disposal of non-DoD-owned toxic or hazardous materials on DoD installations. See part

L0:223.

L1:(g) Authorization Acts, Appropriations Acts, and other statutory restrictions on
L0:foreign acquisition. Acquisitions in the following categories are not subject to the
L0:restrictions of part 225, Restrictions on food, clothing, fabrics, specialty metals, and
L0:hand or measuring tools: (1) Acquisitions at or below the simplified acquisition
L0:threshold; (2) Acquisitions outside the United States in support of combat operations;
L1:(3) Acquisitions of perishable foods by or for activities located outside the United States
L0:for personnel of those activities; (4) Acquisitions of food, specialty metals, or hand or
L0:measuring tools in support of contingency operations, or for which the use of other than
L0:competitive procedures has been approved on the basis of unusual and compelling
L0:urgency in accordance with FAR part 6; (5) Emergency acquisitions by activities located
L0:outside the United States for personnel of those activities; and (6) Acquisitions by
L0:vessels in foreign waters. See part 225.

L1:(h) Rights in technical data. The agency head may notify a person asserting a
L0:restriction that urgent or compelling circumstances (e.g., emergency repair or overhaul)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 18
L0:Defense FAR Supplement (DFARS) Part 218

L0:do not permit the Government to continue to respect the asserted restriction. See part

L0:227.

L1:(i) Tax exemption in Spain. If copies of a contract are not available and duty-free
L0:import of equipment or materials is urgent, the contracting officer may send the Joint
L0:United States Military Group copies of the Letter of Intent or a similar document
L0:indicating the pending award. See PGI 229.

L1:(j) Electronic submission and processing of payment requests. Exceptions to the
L0:use of Wide Area WorkFlow are at part 232.

L1:(k) Mortuary services. In an epidemic or other emergency, the contracting activity
L0:may obtain services beyond the capacity of the contractor's facilities from
L0:other sources. See part 237.

L0:PGI 218.7001-2 Contingency operations.

L1:(a) Selecting appointing, and terminating the appointment for contracting officers. See
L0:part 201 and DoD Instruction 5000.6 for waivers to the contracting officer qualification
L0:requirements pertaining to baccalaureate degrees.

L1:(b) Policy for item unique identification. Contractors will not be required to provide DoD
L0:item unique identification if the items, as determined by the head of the contracting activity,
L0:are to be used to support a contingency operation. See part 211.

L1:(c) Use of the Governmentwide commercial purchase card. Governmentwide
L0:commercial purchase cards use is not required for purchases valued at or below the micro-
L0:purchase threshold if the purchase or payment is for an overseas transaction by a
L0:contracting officer in support of a contingency operation, or for training exercises in
L0:preparation for overseas contingency, humanitarian, or peacekeeping operations. See part

L0:213.

L1:(d) Governmentwide commercial purchase card. A contracting office supporting a

L0:contingency operation or a humanitarian or peacekeeping operation may use the L0:Governmentwide commercial purchase card to make a purchase that exceeds the micro-L0:purchase threshold but does not exceed the simplified acquisition threshold if certain L0:conditions are met. See part 213.

L1:(e) Imprest funds and third party drafts. Imprest funds are authorized for use without L0:further approval for overseas transactions at or below the micro-purchase threshold in L0:support of a contingency operation or a humanitarian or peacekeeping operation. See part **L0:213.**

L1:(f) Standard Form (SF) 44, Purchase Order-Invoice-Voucher. SF 44s may be used for L0:purchases not exceeding the simplified acquisition threshold for overseas transactions by L0:contracting officers in support of a contingency operation or a humanitarian or peacekeeping L0:operation. See part 213.

L1:(g) Only one offer. The requirements at sections 215.371-2 do not apply to L0:acquisitions, as determined by the head of the contracting activity, in support of a L0:contingency operation. See 215.371-4(a)(2).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 18
L0:Defense FAR Supplement (DFARS) Part 218

L1:(h) Approval of determination and findings for time-and-materials or labor-hour L0:contracts. The approval requirements in subpart 216.6 do not apply to contracts that, L0:as determined by the head of the contracting activity, support contingency.

L1:(i) Undefined contract actions. The head of the agency may waive certain limitations L0:for undefined contract actions if the head of the agency determines that the waiver is L0:necessary to support a contingency operation or a humanitarian or peacekeeping operation. L0:See part 217.

L1:(j) Prohibited sources. DoD personnel are authorized to make emergency acquisitions L0:in direct support of U.S. or allied forces deployed in military contingency, humanitarian, or L0:peacekeeping operations in a country or region subject to economic sanctions administered L0:by the Department of the Treasury, Office of Foreign Assets Control. See part 225.

L1:(k) Authorization Acts, Appropriations Acts, and other statutory restrictions on foreign L0:acquisition. Acquisitions in the following categories are not subject to the restrictions of 225, L0:Restrictions on food, clothing, fabrics, specialty metals, and hand or measuring tools: (1) L0:Acquisitions at or below the simplified acquisition threshold; (2) Acquisitions outside the L0:United States in support of combat operations; (3) Acquisitions of perishable foods by or for L0:activities located outside the United States for personnel of those activities; (4) Acquisitions L0:of food, specialty metals, or hand or measuring tools in support of contingency operations, L0:or for which the use of other than competitive procedures has been approved on the basis of L0:unusual and compelling urgency in accordance with FAR part 6; (5) Emergency acquisitions L0:by activities located outside the United States for personnel of those activities; and (6) L0:Acquisitions by vessels in foreign waters. See part 225.

L1:(l) Electronic submission and processing of payment requests. Contractors do not have L0:to submit payment requests in electronic form for contracts awarded by deployed L0:contracting officers in the course of military operations, including contingency operations or L0:humanitarian or peacekeeping operations. See part 232.

L0:PGI 218.7001-3 Defense or recovery from certain events.

L0:For acquisitions that, as determined by the head of the contracting activity, are to

L0:facilitate defense against or recovery from cyber, nuclear, biological, chemical, or radiological attack; to facilitate provision of international disaster assistance; or to support response to an emergency or major disaster, the following requirements do not apply:

L1:(a) Policy for unique item identification. Contractors are not required to provide DoD unique item identification if the items are to be used to facilitate defense against or recovery from nuclear, biological, chemical, or radiological attack. However, contractors are not exempt from this requirement if the items are to be used to facilitate defense against or recovery from cyber attack. See part 211.

L1:(b) Only one offer requirements. See subpart 215.3.

L1:(c) Approval of determination and findings for time-and-materials or labor-hour contracts. See subpart 216.6.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 18

L0:Defense FAR Supplement (DFARS) Part 218

L0:PGI 218.7001-4 Emergency declaration or major disaster declaration.

L1:(a) Establishing or maintaining alternative sources. PGI contains a sample format for Determination and Findings citing the authority of FAR part 6, regarding exclusion of a particular source in order to establish or maintain an alternative source or sources. Alternate 2 of the sample format addresses having a supplier available for furnishing supplies or services in case of a national emergency. See PGI 206.

L1:(b) Electronic submission and processing of payment requests. Contractors do not have to submit payment requests in electronic form for contracts awarded by contracting officers in the conduct of emergency operations, such as responses to natural disasters or national or civil emergencies. See part 232.

L0:PGI 218.7001-5 Humanitarian or peacekeeping operation.

L0:The following requirements do not apply to acquisitions that, as determined by the head of the contracting activity, are in support of humanitarian or peacekeeping operations:

L1:(a) Policy for item unique identification. See part 211.

L1:(b) Only one offer requirements at sections. See subpart 215.3.

L1:(c) Approval of determination and findings for time-and-materials or labor-hour contracts. See subpart 216.6.

L0:PGI 218.7001-6 Head of contracting activity determinations.

L1:(a) The term "head of the agency" is replaced with "head of the contracting activity," in the following locations:

L1:(1) FAR 2.101: definition of "simplified acquisition threshold."

L1:(2) FAR part 12: Treatment as a commercial product or service.

L1:(3) FAR part 13.

L1:(4) FAR part 18: Micro-purchase threshold and simplified acquisition threshold.

L1:(b) The term "head of the executive agency" and "head of the contracting activity" have the following meaning.

L1:(1) Head of the executive agency means the Secretary, unless otherwise indicated.

L1:(2) Head of the contracting activity means the official who has overall responsibility for managing the contracting activity.]

L0:PGI 218.7001-7 Use of electronic business tools.

L1:(a) Use of electronic business (e-business) acquisition tools greatly enhances the

L0:efficacy of the contracting process in emergency-type operations (ETOs). ETOs can benefit
L0:from specific tools, policies, roles and responsibilities, and processes necessary to
L0:streamline delivery of goods and services to the end user. ETOs also can benefit from
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 18
L0:Defense FAR Supplement (DFARS) Part 218
L0:implementing an e-business program with the capabilities necessary to support an end-to-
L0:end electronic acquisition process in order to quickly obtain goods and services for the
L0:warfighter in an operational area. For additional information and resources pertaining to
L0:contingency e-business tools, see the Defense Pricing, Contracting, and Acquisition Policy
L0:contingency contracting resources page at: [https://www.acq.osd.mil/asda/dpc/cp/cc/cc-](https://www.acq.osd.mil/asda/dpc/cp/cc/cc-resources.html)
L0:resources.html.

L1:(b) Use of the following contingency e-business tools is mandatory when automating the
L0:respective acquisition process during a contingency or humanitarian or peacekeeping
L0:operation:

L1:(1) The 3in1 Tool. The 3in1 Tool automates the field order, receipt, and purchase
L0:processes previously executed manually using the paper Standard Form (SF) 44. The 3in1
L0:handheld device records and transmits cash and carry type purchases and payment data to
L0:the prime database for remote reconciliation and review, when conducting on-the-spot, over-
L0:the-counter field purchases where use of the Government Purchase Card is appropriate, but
L0:not feasible. The 3in1 database may be accessed on the Joint Contingency and
L0:Expeditionary Services (JCXS) website at <https://www.jccs.gov/JCCSCOE>.

L1:(2) The Acquisition Cross-Servicing Agreements (ACSA) Global Automated
L0:Tracking and Reporting System (AGATRS). AGATRS is an automated tool that tracks and
L0:provides visibility into worldwide ACSAs that may satisfy a requirement through support from
L0:the host nation or other nations supporting the operation. ACSA transactions that are used
L0:in support of contingency or humanitarian or peacekeeping operations are required to be
L0:documented and tracked in AGATRS as required by the Chairman of the Joint Chiefs of
L0:Staff Instruction 2120.01D, Acquisition and Cross Servicing Agreements
L0:(<https://www.jcs.mil/Portals/36/Documents/Library/Instructions/CJCSI%202120.01E.pdf>).
L0:AGATRS is accessible on the JCXS website at <https://www.jccs.gov/JCCSCOE>.

L1:(c) No other electronic tools may be used to fulfill the same capabilities as 3in1 and

L0:AGATRS.

L1:(d) See PGI 225 regarding use of the Theater Business Clearance e-business tool.

PART 19

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

219.101 Small business goals

Status: active

L0:219.101 Small business goals.

L2:(b)(2) See PGI 205.002-70(b) for details on advertising a small business event on the

L0:Government point of entry.

219.102 Coordination

Status: active

L0:219.102 Coordination.

L1:(a) The contracting activity small business specialist is the primary point of contact

L0:for communication with the SBA. See PGI 219.102(a) for further information.

L2:(d)(i) Unless the contracting activity requests a review, SBA procurement center

L0:representatives will not review acquisitions conducted by or for DoD if the acquisition

L0:is?

L1:(A) For foreign military sales (see 225.7300);

L1:(B) In support of humanitarian and civic assistance;

L1:(C) In support of a contingency operation;

L1:(D) Awarded pursuant to a Status of Forces Agreement or other agreement

L0:with the government of a foreign country in which U.S. Armed Forces are deployed; or

L1:(E) Both awarded and performed outside the United States and its outlying

L0:areas.

L1:(ii) As used in this section, ?Humanitarian and civic assistance? means any of

L0:the following activities carried out in conjunction with authorized military operations in

L0:a foreign country:

L1:(A) Medical, surgical, dental, and veterinary care provided in areas of a

L0:country that are rural or underserved by professionals in those fields, including

L0:education, training, and technical assistance related to the care provided.

L1:(B) Construction of rudimentary surface transportation systems.

L1:(C) Well drilling and construction of basic sanitation facilities.

L1:(D) Rudimentary construction and repair of public facilities (10 U.S.C.

L0:401(e)).

L2:(f)(1) The head of the contracting activity may not delegate this authority lower

L0:than the chief of the contracting office.

L1:(g) See PGI 219.102(g)(1) for review and recommendation procedures, including

L0:dollar thresholds.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

219.104 Small business set-asides

Status: active

L0:219.104 Small business set-asides.

219.104-1 Total small business set-asides

Status: active

L0:219.104-1 Total small business set-asides.

L1:(a) The requirements at FAR 19.104-1(a) and (b) apply to acquisitions for?

L1:(i) Construction, including maintenance and repairs, under \$3.5 million;

L1:(ii) Dredging under \$2 million; and

L1:(iii) Architect-engineer services for military construction or family housing

L0:projects under \$1 million (10 U.S.C. 2855).

L1:(c) The requirement at FAR 19.104-1(a) does not apply to acquisitions?

L1:(i) For supplies that were developed and financed, in whole or in part, by

L0:Canadian sources under the U.S.-Canadian Defense Development Sharing Program; or

L1:(ii) Excluded from procurement center representative review (see

L0:219.102(d)(i).

219.104-70 Set asides for religious-related services

Status: active

L0:219.104-70 Set asides for religious-related services.

L1:(a) When acquiring religious-related services for a U.S. military base, allow

L0:nonprofit organizations to compete on set-asides for small business concerns and avoid

L0:using sole-source exceptions.

L1:(b) If the apparently successful offeror does not identify as a small business, verify

L0:that it is registered in SAM as a nonprofit organization.

L1:(c) Insert the provision at 252.219-7012, Competition for Religious-Related Services,

L0:in solicitations, including solicitations using FAR part 12 procedures for the acquisition

L0:of commercial services, for religious-related services to be performed on U.S. military

L0:installations, when the acquisition is set aside for any of the small business concerns

L0:identified in FAR 19.000(a)(3).

219.108 Contracting with the Small Business Administration (the 8(a))

Status: active

L0:219.108 Contracting with the Small Business Administration (the 8(a) L0:Program).

219.108-1 General

Status: active

L0:219.108-1 General.

L2:(d)(i) The SBA has delegated its authority under 15 U.S.C. 637(a)(1) to the Under L0:Secretary of Defense (Acquisition and Sustainment) to award 8(a) contracts to eligible L0:8(a) participants. This delegation, based on a Partnership Agreement (PA) between the L0:SBA and DoD, redelegates this authority to DoD contracting officers and only covers L0:contract signing on the SBA's behalf. The SBA remains the prime contractor, L0:determines eligibility, and retains appeal rights. The PA, including its expiration date, L0:is available at PGI 219.108-1.

L1:(ii) Contracts awarded on either a sole source or competitive basis under the L0:PA may be awarded directly to the 8(a) participant; an SBA signature on the contract is L0:not required.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(iii) Notwithstanding the PA, contracting officers may award a contract

L0:following the procedures at FAR 19.108 and 19.208.

219.108-3 Selecting acquisitions for the 8(a) Program

Status: active

L0:219.108-3 Selecting acquisitions for the 8(a) Program.

L0:Follow the procedures at PGI 219.108-3 when selecting acquisitions for the 8(a)

L0:Program.

219.108-4 Evaluation, offering, and acceptance

Status: active

L0:219.108-4 Evaluation, offering, and acceptance.

L0:Follow the procedures at PGI 219.108-4 when processing requirements under the PA.

219.108-7 Competitive 8(a) and sole source 8(a) policy

Status: active

L0:219.108-7 Competitive 8(a) and sole source 8(a) policy.

L2:(b)(i) For acquisitions exceeding the competitive threshold (see FAR 19.108-7(a)(2)),

L0:the SBA may accept the requirement for a sole source 8(a) award on behalf of a small

L0:business concern owned by a Native Hawaiian Organization (Section 8020 of Pub. L.

L0:109-148).

L1:(ii) ?Native Hawaiian Organization,? as used in this section, means any
L0:community service organization serving Native Hawaiians in the State of Hawaii that
L0:is a not-for-profit organization chartered by the State of Hawaii, controlled by Native
L0:Hawaiians, and whose business activities will principally benefit Native Hawaiians (15
L0:U.S.C. 637(a)(15) and 13 CFR 124.3).

219.108-10 Contract clauses

Status: active

L0:219.108-10 Contract clauses.

L1:(1) Insert the clause at 252.219-7009, Section 8(a) Direct Award, instead of
L0:clauses FAR 52.219-11, Special 8(a) Contract Conditions, FAR 52.219-12, Special 8(a)
L0:Subcontract Conditions, and FAR 52.219-17, Section 8(a) Award, in solicitations and
L0:contracts processed in accordance with the PA.

L1:(2) Insert the clause at 252.219-7010, Notification of Competition Limited to
L0:Eligible 8(a) Participants?Partnership Agreement, instead of the clause at FAR
L0:52.219-18, Notification of Competition Limited to Eligible 8(a) Participants, in
L0:competitive solicitations and contracts, including those using FAR part 12 procedures
L0:for the acquisition of commercial products and commercial services, when the
L0:acquisition is accomplished using the procedures of FAR 19.108-7 and processed in
L0:accordance with the PA.

L1:(3) Insert the clause at 252.219-7011, Notification to Delay Performance, in
L0:solicitations and purchase orders issued under the PA.

219.109 Small business subcontracting plans

Status: active

L0:219.109 Small business subcontracting plans.

L3:(e)(2)(A) Insert the clause at 252.219-7996 , Small Business Subcontracting Plan
L0:(DoD Contracts), in solicitations and contracts, including those using FAR part 12
L0:procedures for the acquisition of commercial products and commercial services, that
L0:contain the clause at FAR 52.219-9, Small Business Subcontracting Plan.
L0:alternate I, or alternate II of FAR 52.219-9.

L1:(1) Insert the basic clause at 252.219-7996, when using the basic,
L0:Alternate III of FAR 52.219-9.

L1:(2) Use the alternate I clause at 252.219-7996, when using
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19
L0:Defense FAR Supplement (DFARS) Part 219
L0:Demonstration Project described at 226.72.

L1:(3) Use the alternate II clause at 252.219-7996 when using the
L1:(B) For contracts with comprehensive subcontracting plans approved
L0:under the Test Program described in 219.206-70, including contracts using FAR part 12

L0:procedures for the acquisition of commercial products and commercial services, insert
L0:the clause at 252.219-7997, Small Business Subcontracting Plan (Test Program),
L0:instead of the clauses at?
L0:Contracts);
L1:(1) 252.219-7996 , Small Business Subcontracting Plan (DoD
L1:(2) FAR 52.219-9, Small Business Subcontracting Plan; and
L1:(3) FAR 52.219-16, Liquidated Damages?Subcontracting Plan.
L1:(f) Do not use the clause at FAR 52.219-10, Incentive Subcontracting Program, in
L0:contracts with comprehensive subcontracting plans approved under the Test Program
L0:described in 219.206-70.

219.110 Price evaluation preference for HUBZone small business concerns

Status: active

L0:219.110 Price evaluation preference for HUBZone small business concerns.
L1:(a) In tiered evaluations, do not apply the price evaluation preference until a tier is
L0:reached where offers from other than small businesses are being considered.

219.170 Advancing small business growth

Status: active

L0:219.170 Advancing small business growth.
L0:Insert the provision at 252.219-7000, Advancing Small Business Growth, in solicitations
L0:when the estimated annual value of the contract is expected to exceed?
L1:(a) The small business size standard, if expressed in dollars, for the North American
L0:Industry Classification System (NAICS) code assigned by the contracting officer; or
L1:(b) \$70 million, if the small business size standard is expressed as number of
L0:employees for the NAICS code assigned by the contracting officer.

219.204 Certificate of Competency

Status: active

L0:219.204 Certificate of Competency.
L0:When making a nonresponsibility determination for a small business concern, follow
L0:the procedures at PGI 219.204.

219.206 Evaluating small business subcontracting plans

Status: active

L0:219.206 Evaluating small business subcontracting plans.

219.206-3 Reviewing the subcontracting plan

Status: active

L0:219.206-3 Reviewing the subcontracting plan.

L0:The contracting officer may use the checklist at PGI 219.206-3 when reviewing

L0:subcontracting plans in accordance with FAR 19.206-3. The checklist does not apply to

L0:the DoD Test Program for Negotiation of Comprehensive Small Business

L0:Subcontracting Plans (219.206-70).

219.206-70 Test Program for Negotiation of Comprehensive Small Business

Status: active

L0:219.206-70 Test Program for Negotiation of Comprehensive Small Business

L0:Subcontracting Plans.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L2:(a)(1) Test Program. In accordance with 15 U.S.C. 637 note, the DoD Test Program

L0:for Negotiation of Comprehensive Small Business Subcontracting Plans (Test Program)

L0:aims to determine whether comprehensive subcontracting plans on a corporate,

L0:division, or plant-wide basis will reduce administrative burdens while enhancing

L0:subcontracting opportunities for small and small disadvantaged business concerns.

L1:(2) Expiration date. The Test Program expires on December 31, 2027.

L1:(b) Eligibility requirements. To become and remain an eligible participant in the

L0:Test Program, a business concern must have furnished supplies or services (including

L0:construction) under at least three DoD contracts during the preceding fiscal year with a

L0:minimum aggregate value of \$100 million.

L1:(c) Comprehensive subcontracting plans.

L1:(1) The Defense Contract Management Agency will designate a contracting

L0:officer to negotiate, approve, and monitor compliance of a comprehensive subcontracting

L0:plan with an eligible participant on an annual basis.

L1:(2) Test Program participants use their comprehensive subcontracting plans, in

L0:lieu of individual subcontracting plans, when performing any DoD contract or

L0:subcontract that requires a subcontracting plan.

219.208 Evaluating and awarding under the 8(a) Program

Status: active

L0:219.208 Evaluating and awarding under the 8(a) Program.

219.208-1 Procedures for competitive 8(a)

Status: active

L0:219.208-1 Procedures for competitive 8(a).

L2:(b)(1) For requirements processed under the PA, follow the procedures at PGI
L0:219.208-1(b)(1)(A) for requesting eligibility determinations.

219.208-2 Contract negotiation

Status: active

L0:219.208-2 Contract negotiation.

L0:For sole-source requirements processed under the PA, follow the procedures at PGI

L0:219.208-2.

L2:(a)(1) In lieu of the threshold at FAR 19.208-2(a), the SBA may not accept for

L0:negotiation a DoD sole-source 8(a) contract that exceeds \$150 million unless the DoD

L0:has completed a justification in accordance with the requirements of FAR 6.104 and

L0:206.104-70.

219.208-3 Pricing the 8(a) contract

Status: active

L0:219.208-3 Pricing the 8(a) contract.

L1:(a) For requirements processed under the PA?

L1:(i) Obtain certified cost or pricing data from the 8(a) contractor, if required

L0:by FAR subpart 15.4; and

L1:(ii) SBA concurrence in the negotiated price is not required. However,

L0:notify the SBA prior to withdrawing a requirement from the 8(a) Program due to failure

L0:to agree on price or other terms and conditions, the . Such notification is not required

L0:for purchase orders not exceeding the simplified acquisition threshold.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

219.208-7 Preparing the contracts

Status: active

L0:219.208-7 Preparing the contracts.

L0:When preparing contracts under the PA, follow the procedures at PGI 219.208-7.

219.301 Small business size rerepresentations

Status: active

L0:219.301 Small business size rerepresentations.

L1:(c) Follow the procedures at PGI 204.301 for reporting modifications for

L0:rerepresentation actions.

219.302 Small business subcontracting plans

Status: active

L0:219.302 Small business subcontracting plans.

219.302-2 Compliance with the plan

Status: active

L0:219.302-2 Compliance with the plan.

L1:(a) See PGI 219.302-2 for guidance on reviewing subcontracting reports.

L2:(1)(A) In accordance with 10 U.S.C. 3903, section 9077 of Pub. L. 102-396, and

L0:subsequent Defense appropriations acts, subcontracts awarded to qualified nonprofit

L0:agencies (NPA) approved by the Committee for Purchase from People Who Are Blind or

L0:Severely Disabled (41 U.S.C. chapter 85) may be counted toward the prime contractor's

L0:small business subcontracting goal.

L1:(B) Unless the prime contractor has reason to question the representations,

L0:it may accept a subcontractor's written representations of its status as a qualified NPA

L0:approved by the Committee for Purchase from People Who Are Blind or Severely

L0:Disabled, or a historically black college or university or minority institution.

L1:(2) With respect to subcontracting plans approved under the Test Program for

L0:Negotiation of Comprehensive Small Business Subcontracting Plans (see 219.206-70),

L0:the designated contracting officer will conduct a compliance review during the fiscal

L0:year after the close of the fiscal year for which the plan is applicable by comparing the

L0:approved percentage or dollar goals to the total, actual subcontracting dollars covered

L0:by the comprehensive subcontracting plan. The requirements at FAR 19.302-2(b) and

L1:(c) apply to compliance assessments of comprehensive subcontracting plans.

L1:(e) If a prime contractor listed a small business subcontractor in its bid or proposal

L0:and replaces that small business with an other than small business, it must notify the

L0:administrative contracting officer in writing within a reasonable amount of time after

L0:the subcontract is awarded.

219.7100 Scope

Status: active

L0:219.7100 Scope.

L0:This subpart implements the DoD Mentor-Protégé Program (referred to as the

L0:Program) to incentivize DoD contractors to help protégé firms grow their capabilities

L0:and increase participation in Government and commercial contracts (10 U.S.C. 4902).

219.7101 Policy

Status: active

L0:219.7101 Policy.

L0:See Appendix I, Policy and Procedures for the DoD Mentor-Protégé Program, for DoD
L0:policy and procedures for implementing the Program.

219.7102 General

Status: active

L0:219.7102 General.

L0:The Program provides?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(a) Mentor-protégé agreements that establish a developmental assistance program

L0:for a protégé firm; and

L1:(b) Incentives for mentor firms that include?

L1:(1) Reimbursement for developmental assistance costs through?

L1:(i) A separately priced line item on a DoD contract; or

L1:(ii) A separate contract, if the Director, OSBP, of the cognizant military

L0:department or defense agency determines in writing that unusual circumstances justify

L0:reimbursement using a separate contract; or

L1:(2) Credit toward applicable subcontracting goals, established under a

L0:subcontracting plan negotiated under FAR 19.206 or under the DoD Comprehensive

L0:Subcontracting Test Program, for developmental assistance costs that are not

L0:reimbursed.

219.7103 Contracting officer responsibilities

Status: active

L0:219.7103 Contracting officer responsibilities.

L1:(a) Negotiate an advance agreement on the treatment of developmental assistance

L0:costs for either credit or reimbursement if the mentor firm proposes such an agreement,

L0:or delegate authority to negotiate to the administrative contracting officer (see FAR

L0:31.110).

L1:(b) Modify applicable contract(s) to incorporate the clause at 252.232-7005,

L0:Reimbursement of Subcontractor Advance Payments?DoD Mentor-Protégé Program,

L0:without consideration, when a mentor firm provides advance payments to a protégé

L0:firm under the Program and the mentor firm requests reimbursement of advance

L0:payments.

L1:(c) Modify, without consideration, applicable contract(s) to incorporate other than

L0:customary progress payments for protégé firms in accordance with FAR 32.504(c) if a

L0:mentor firm provides such payments to a protégé firm and the mentor firm requests

L0:reimbursement.

L1:(d) Modify applicable contract(s) to establish a line item for reimbursement of

L0:developmental assistance costs if?

L1:(1) A DoD program manager or the Director, OSBP, of the cognizant military

L0:department or defense agency has made funds available for that purpose; and
L1:(2) The contractor has an approved mentor-protégé agreement.
L1:(e) Negotiate and award a separate contract for reimbursement of developmental
L0:assistance costs only if?
L1:(1) Funds are available for that purpose;
L1:(2) The contractor has an approved mentor-protégé agreement; and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19
L0:Defense FAR Supplement (DFARS) Part 219
L1:(3) The Director, OSBP, of the military department or defense agency has made
L0:a determination in accordance with 219.7102(b)(1)(ii).
L1:(f) Do not authorize reimbursement for costs of assistance furnished to a protégé
L0:firm in excess of \$1 million in a fiscal year unless a written determination from the
L0:Director, OSBP, of the military department or defense agency is obtained.
L1:(g) Advise contractors of reporting requirements in Appendix I.
L1:(h) Provide a copy of the approved mentor-protégé agreement to the Defense
L0:Contract Management Agency (DCMA) small business professional responsible for
L0:conducting the annual performance review (see Appendix I, section I-113).

219.7104 Developmental assistance costs eligible for reimbursement or credit

Status: active

L0:219.7104 Developmental assistance costs eligible for reimbursement or credit.
L1:(a) Developmental assistance under a mentor-protégé agreement must be separate
L0:from, and not replicate, typical subcontract administration. The mentor firm must
L0:charge subcontract costs according to its standard accounting practices. Appendix I
L0:lists reimbursable mentor firm costs.
L1:(b) For mentor-protégé agreements before December 23, 2022, eligible
L0:developmental assistance costs incurred by September 30, 2026, can be credited toward
L0:subcontracting goals. For agreements on or after December 23, 2022, eligible
L0:developmental assistance costs may be credited toward subcontracting goals. See
L0:Appendix I.

219.7105 Reporting

Status: active

L0:219.7105 Reporting.
L0:Mentor and protégé firms are required to report on the progress made under mentor-
L0:protégé agreements (See Appendix I, section I-112).

219.7106 Performance reviews

Status: active

L0:219.7106 Performance reviews.

L0:DCMA will conduct annual performance reviews of all mentor-protégé agreements as indicated in Appendix I, Section I-113. The determinations made in these reviews contribute to the determinations of amounts of reimbursement, if any, that the mentor firm is eligible to receive in the remaining years of the Program participation term under the agreement.

252.219-7000 Advancing Small Business Growth

Status: active

L0:252.219-7000 Advancing Small Business Growth.

L0:As prescribed in 219.170(a), use the following provision:

L0:ADVANCING SMALL BUSINESS GROWTH (JUN 2023)

L1:(a) This provision implements 10 U.S.C. 4959.

L1:(b) The Offeror acknowledges by submission of its offer that by acceptance of the

L0:contract resulting from this solicitation, the Offeror may exceed the applicable small

L0:business size standard of the North American Industry Classification System (NAICS)

L0:code assigned to the contract and would no longer qualify as a small business concern

L0:for that NAICS code. Small business size standards matched to industry NAICS codes

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L0:are published by the Small Business Administration and are available at 13 CFR

121.201 and <https://www.sba.gov/document/support-table-size-standards>. The Offeror

Status: active

L0:121.201 and <https://www.sba.gov/document/support-table-size-standards>. The Offeror

L0:is therefore encouraged to develop the capabilities and characteristics typically desired

L0:in contractors that are competitive as other-than-small contractors in this industry.

L1:(c) For procurement technical assistance, the Offeror may contact the nearest APEX

L0:Accelerator. APEX Accelerator locations are available at

L0:<https://www.apexaccelerators.us>.

L0:(End of provision)

252.219-7996 Small Business Subcontracting Plan (DoD Contracts)

Status: active

L0:252.219-7996 Small Business Subcontracting Plan (DoD Contracts).

L0:(DEVIATION 2026-O0037)

L0:Basic. As prescribed in 219.109(e)(2)(A)(1), use the following clause:

L0:SMALL BUSINESS SUBCONTRACTING PLAN (DOD CONTRACTS)?BASIC

L0:(DEVIATION 2026-O0037) (FEB 2026)

L0:This clause supplements the Federal Acquisition Regulation 52.219-9, Small Business

L0:Subcontracting Plan, clause of this contract.

L1:(a) Definitions. As used in this clause?

L0:Summary Subcontract Report (SSR) Coordinator? means the individual who is
 L0:registered in the Electronic Subcontracting Reporting System (eSRS) at the
 L0:Department of Defense level and is responsible for acknowledging receipt or rejecting
 L0:SSRs submitted under an individual subcontracting plan in eSRS for the Department of
 L0:Defense.

L1:(b) Subcontracts awarded to qualified nonprofit agencies designated by the
 L0:Committee for Purchase From People Who Are Blind or Severely Disabled (41 U.S.C.
 L0:8502-8504), may be counted toward the Contractor?s small business subcontracting
 L0:goal.

L1:(c) A mentor firm, under the Pilot Mentor-Protege Program established under
 L0:section 831 of Public Law 101-510, as amended, may count toward its small
 L0:disadvantaged business goal, subcontracts awarded to?

L1:(1) Protege firms which are qualified organizations employing the severely
 L0:disabled; and

L1:(2) Former protege firms that meet the criteria in section 831(g)(4) of Public
 L0:Law 101-510.

L1:(d) The master plan is approved by the Contractor's cognizant contract
 L0:administration activity.

L1:(e) In those subcontracting plans which specifically identify small businesses, the
 L0:Contractor shall notify the Administrative Contracting Officer of any substitutions of
 L0:firms that are not small business firms, for the small business firms specifically
 L0:identified in the subcontracting plan. Notifications shall be in writing and shall occur
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19
 L0:Defense FAR Supplement (DFARS) Part 219
 L0:within a reasonable period of time after award of the subcontract. Contractor-specified
 L0:formats shall be acceptable.

L2:(f)(1) For DoD, the Contractor shall submit reports in eSRS as follows:

L1:(i) Submit the Individual Subcontract Report (ISR) to the contracting officer
 L0:at the procuring contracting office, even when contract administration has been
 L0:delegated to the Defense Contract Management Agency.

L1:(ii) Submit the consolidated SSR for an individual subcontracting plan to
 L0:the ?Department of Defense.?

L1:(2) For DoD, the authority to acknowledge receipt or reject reports in eSRS is as
 L0:follows:

L1:(i) The authority to acknowledge receipt or reject the ISR resides with the
 L0:contracting officer who receives it, as described in paragraph (f)(1)(i) of this clause.

L1:(ii) The authority to acknowledge receipt of or reject SSRs submitted under
 L0:an individual subcontracting plan resides with the SSR Coordinator.

L1:(g) Insert the clause at Defense Federal Acquisition Regulation Supplement
 L1:(DFARS) 252.219-7997, Small Business Subcontracting Plan (Test Program), in
 L0:subcontracts with subcontractors that participate in the Test Program described in
 L0:DFARS 219.206-70, if the subcontract is expected to exceed the applicable threshold
 L0:specified in Federal Acquisition Regulation 19.109(a)(1) and to have further
 L0:subcontracting opportunities.

L0:(End of clause)

L0:Alternate I. As prescribed in 219.109(e)(2)(A)(2), use the following clause, which uses

L0:a different paragraph (f) than the basic clause.

L0:SMALL BUSINESS SUBCONTRACTING PLAN (DOD CONTRACTS)?ALTERNATE

L0:I (DEVIATION 2026-00037) (FEB 2026)

L0:This clause supplements the Federal Acquisition Regulation 52.219-9, Small Business

L0:Subcontracting Plan, clause of this contract.

L1:(a) Definitions. As used in this clause?

L0:?Summary Subcontract Report (SSR) Coordinator? means the individual who is

L0:registered in the Electronic Subcontracting Reporting System (eSRS) at the

L0:Department of Defense level and is responsible for acknowledging receipt or rejecting

L0:SSRs submitted under an individual subcontracting plan in eSRS for the Department of

L0:Defense.

L1:(b) Subcontracts awarded to qualified nonprofit agencies designated by the

L0:Committee for Purchase From People Who Are Blind or Severely Disabled (41 U.S.C.

L0:8502-8504), may be counted toward the Contractor?s small business subcontracting

L0:goal.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(c) A mentor firm, under the Pilot Mentor-Protege Program established under

L0:section 831 of Public Law 101-510, as amended, may count toward its small

L0:disadvantaged business goal, subcontracts awarded to?

L1:(1) Protege firms which are qualified organizations employing the severely

L0:disabled; and

L1:(2) Former protege firms that meet the criteria in section 831(g)(4) of Public

L0:Law 101-510.

L1:(d) The master plan is approved by the Contractor's cognizant contract

L0:administration activity.

L1:(e) In those subcontracting plans which specifically identify small businesses, the

L0:Contractor shall notify the Administrative Contracting Officer of any substitutions of

L0:firms that are not small business firms, for the small business firms specifically

L0:identified in the subcontracting plan. Notifications shall be in writing and shall occur

L0:within a reasonable period of time after award of the subcontract. Contractor-specified

L0:formats shall be acceptable.

L2:(f)(1) For DoD, the Contractor shall submit reports in eSRS as follows:

L1:(i) The Standard Form 294, Subcontracting Report for Individual Contracts,

L0:shall be submitted in accordance with the instructions on that form.

L1:(ii) Submit the consolidated SSR to the ?Department of Defense.?

L1:(2) For DoD, the authority to acknowledge receipt of or reject SSRs submitted

L0:under an individual subcontracting plan in eSRS resides with the SSR Coordinator.

L1:(g) Insert the clause at Defense Federal Acquisition Regulation Supplement

L1:(DFARS) 252.219-7997, Small Business Subcontracting Plan (Test Program), in

L0:subcontracts with subcontractors that participate in the Test Program described in

L0:DFARS 219.206-70, if the subcontract is expected to exceed the applicable threshold

L0:specified in Federal Acquisition Regulation 19.109(a)(1) and to have further
L0:subcontracting opportunities.

L0:(End of clause)

L0:Alternate II. As prescribed in 219.109(e)(2)(A)(3), use the following clause, which
L0:uses different paragraphs (a) and (b) than the basic clause.

**L0:SMALL BUSINESS SUBCONTRACTING PLAN (DOD CONTRACTS)?ALTERNATE
L0:II (DEVIATION 2026-O0037) (FEB 2026)**

L1:(a) Definitions. As used in this clause?

L0:Eligible contractor? means a business entity operated on a for-profit or nonprofit
L0:basis that?

L1:(1) Employs severely disabled individuals at a rate that averages not less than
L0:33 percent of its total workforce over the 12-month period prior to issuance of the
L0:solicitation;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19
L0:Defense FAR Supplement (DFARS) Part 219

L1:(2) Pays not less than the minimum wage prescribed pursuant to 29 U.S.C. 206
L0:to the employees who are severely disabled individuals; and

L1:(3) Provides, for its employees, health insurance and a retirement plan
L0:comparable to those provided for employees by business entities of similar size in its
L0:industrial sector or geographic region.

L0:Summary Subcontract Report (SSR) Coordinator? means the individual who is
L0:registered in the Electronic Subcontracting Reporting System (eSRS) at the
L0:Department of Defense level and is responsible for acknowledging receipt or rejecting
L0:SSRs submitted under an individual subcontracting plan in eSRS for the Department of
L0:Defense.

L2:(b)(1) Subcontracts awarded to qualified nonprofit agencies designated by the
L0:Committee for Purchase From People Who are Blind or Severely Disabled (41 U.S.C.
L0:8502-8504), may be counted toward the Contractor's small business subcontracting goal
L0:(section 8025 of Pub. L. 108-87).

L1:(2) Subcontracts awarded to eligible contractors under the Demonstration
L0:Project for Contractors Employing Persons with Disabilities (see Defense Federal
L0:Acquisition Regulation Supplement (DFARS) 226.72) may be counted toward the
L0:Contractor's small disadvantaged business subcontracting goal (section 853 of Pub. L.
L0:108-136, as amended by division H, section 110 of Pub. L. 108-199).

L1:(c) A mentor firm, under the Pilot Mentor-Protege Program established under
L0:section 831 of Public Law 101-510, may count toward its small disadvantaged business
L0:goal, subcontracts awarded to?

L1:(1) Protege firms which are qualified organizations employing the severely
L0:disabled; and

L1:(2) Former protege firms that meet the criteria in section 831(g)(4) of Public
L0:Law 101-510.

L1:(d) The master plan is approved by the cognizant contract administration activity
L0:for the Contractor.

L1:(e) In those subcontracting plans which specifically identify small businesses, the

L0:Contractor shall notify the Administrative Contracting Officer of any substitutions of L0:firms that are not small business firms, for the small business firms specifically L0:identified in the subcontracting plan. Notifications shall be in writing and shall occur L0:within a reasonable period of time after award of the subcontract. Contractor-specified L0:formats shall be acceptable.

L2:(f)(1) For DoD, the Contractor shall submit reports in eSRS as follows:

L1:(i) Submit the Individual Subcontract Report (ISR) to the contracting L0:officer at the procuring contracting office, even when contract administration has been L0:delegated to the Defense Contract Management Agency.

L1:(ii) Submit the consolidated SSR for an individual subcontracting plan to L0:the ?Department of Defense.?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(2) For DoD, the authority to acknowledge receipt or reject reports in eSRS is as L0:follows:

L1:(i) The authority to acknowledge receipt or reject the ISR resides with the L0:contracting officer who receives it, as described in paragraph (f)(1)(i) of this clause.

L1:(ii) The authority to acknowledge receipt of or reject SSRs submitted under L0:an individual subcontracting plan resides with the SSR Coordinator.

L1:(g) Include the clause at DFARS 252.219-7997, Small Business Subcontracting Plan L0:(Test Program), in subcontracts with subcontractors that participate in the Test L0:Program described in DFARS 219.206-70, if the subcontract is expected to exceed the L0:applicable threshold specified in Federal Acquisition Regulation 19.109(a)(1) and to L0:have further subcontracting opportunities.

L0:(End of clause)

252.219-7997 Small Business Subcontracting Plan (Test Program)

Status: active

L0:252.219-7997 Small Business Subcontracting Plan (Test Program).

L0:(DEVIATION 2026-O0037)

L0:As prescribed in 219.109(e)(2)(B), use the following clause:

L0:SMALL BUSINESS SUBCONTRACTING PLAN (TEST PROGRAM) (DEVIATION L0:2026-O0037) (FEB 2026)

L1:(a) Definitions. As used in this clause?

L0:?"Covered small business concern?" means a small business concern, veteran-owned L0:small business concern, service-disabled veteran-owned small business concern, L0:HUBZone small business concern, women-owned small business concern, or small L0:disadvantaged business concern, as these terms are defined in FAR 2.101.

L0:?"Electronic Subcontracting Reporting System (eSRS)?" means the Governmentwide, L0:electronic, web-based system for small business subcontracting program reporting.

L0:?"Failure to make a good faith effort to comply with a comprehensive subcontracting L0:plan?" means a willful or intentional failure to perform in accordance with the

L0:requirements of the Contractor?s approved comprehensive subcontracting plan or willful

L0:or intentional action to frustrate the plan.

L0:Subcontract? means any agreement (other than one involving an employer-

L0:employee relationship) entered into by a Federal Government prime Contractor or

L0:subcontractor calling for supplies or services required for performance of the contract or

L0:subcontract.

L1:(b) Test Program. The Contractor?s comprehensive small business subcontracting

L0:plan and its successors, which are authorized by and approved under the Test Program

L0:of 15 U.S.C. 637 note, as amended, shall be included in and made a part of this contract.

L0:Upon expulsion from the Test Program or expiration of the Test Program, the

L0:Contractor shall negotiate an individual subcontracting plan for all future contracts

L0:that meet the requirements of 15 U.S.C. 637(d).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(c) Eligibility requirements. To become and remain eligible to participate in the Test

L0:Program, a business concern is required to have furnished supplies or services

L0:(including construction) under at least three DoD contracts during the preceding fiscal

L0:year, having an aggregate value of at least \$100 million.

L1:(d) Reports.

L1:(1) The Contractor shall report semiannually for the 6-month periods ending

L0:March 31 and September 30, the information in paragraphs (d)(1)(i) through (v) of this

L0:section within 30 days after the end of the reporting period.

L1:(i) A list of contracts covered under its comprehensive small business

L0:subcontracting plan, to include the Commercial and Government Entity (CAGE) code

L0:and unique entity identifier.

L1:(ii) The amount of first-tier subcontract dollars awarded during the 6-month

L0:period covered by the report to covered small business concerns, with the information

L0:set forth separately by?

L1:(A) North American Industrial Classification System (NAICS) code;

L1:(B) Major defense acquisition program, as defined in 10 U.S.C. 4201;

L1:(C) Contract number, if the contract is for maintenance, overhaul,

L0:repair, servicing, rehabilitation, salvage, modernization, or modification of supplies,

L0:systems, or equipment, and the total value of the contract, including options, exceeds

L0:\$100 million; and

L1:(D) Military department.

L1:(iii) Total number of subcontracts active under the Test Program that would

L0:have otherwise required a subcontracting plan.

L1:(iv) Costs incurred in negotiating, complying with, and reporting on its

L0:comprehensive subcontracting plan.

L1:(v) Costs avoided through the use of a comprehensive subcontracting plan.

L1:(2) The Contractor shall?

L1:(i) Ensure that subcontractors with subcontracting plans agree to submit an

L0:Individual Subcontract Report (ISR) and/or Summary Subcontract Report (SSR) using

L0:the Electronic Subcontracting Reporting System (eSRS).

L1:(ii) Provide its contract number, its unique entity identifier, and the email

L0:address of the Contractor?s official responsible for acknowledging or rejecting the ISR to

L0:all first-tier subcontractors, who will be required to submit ISRs, so they can enter this
L0:information into the eSRS when submitting their reports.

L1:(iii) Require that each subcontractor with a subcontracting plan provide the

L0:prime contract number, its own unique entity identifier, and the email address of the

L0:subcontractor's official responsible for acknowledging or rejecting the ISRs to its

L0:subcontractors with subcontracting plans who will be required to submit ISRs.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(iv) Acknowledge receipt or reject all ISRs submitted by its subcontractors

L0:using eSRS.

L1:(3) The Contractor shall submit SSRs using eSRS. The reports shall provide

L0:information on subcontract awards to small business concerns, veteran-owned small

L0:business concerns, service-disabled veteran-owned small business concerns, HUBZone

L0:small business concerns, small disadvantaged business concerns, and women-owned

L0:small business concerns. Purchases from a corporation, company, or subdivision that is

L0:an affiliate of the prime Contractor or subcontractor are not included in these reports.

L0:Subcontract award data reported by prime contractors and subcontractors shall be

L0:limited to awards made to their immediate next-tier subcontractors. Credit cannot be

L0:taken for awards made to lower-tier subcontractors unless the Contractor or

L0:subcontractor has been designated to receive a small business or small disadvantaged

L0:business credit from a member firm of the Alaska Native Corporations or an Indian

L0:tribe. Only subcontracts involving performance in the U.S. or its outlying areas should

L0:be included in these reports.

L1:(i) This report may be submitted on a corporate, company, or subdivision

L0:(e.g., plant or division operating as a separate profit center) basis, as negotiated in the

L0:comprehensive subcontracting plan with the Defense Contract Management Agency.

L1:(ii) This report encompasses all subcontracting under prime contracts and

L0:subcontracts with the Department of Defense, regardless of the dollar value of the

L0:subcontracts, and is based on the negotiated comprehensive subcontracting plan.

L1:(iii) The report shall be submitted semi-annually for the six months ending

L0:March 31 and the twelve months ending September 30. Reports are due 30 days after

L0:the close of each reporting period.

L1:(iv) The authority to acknowledge receipt of or reject the SSR resides with

L0:the Defense Contract Management Agency.

L1:(e) Failure to comply. The failure of the Contractor or subcontractor to comply in

L0:good faith with the clause of this contract entitled "Utilization of Small Business

L0:Concerns," or an approved plan required by this clause, shall be a material breach of the

L0:contract.

L1:(f) Liquidated damages. The Contracting Officer designated to manage the

L0:comprehensive subcontracting plan will exercise the functions of the Contracting

L0:Officer, as identified in paragraphs (f)(1) through (4) of this clause, on behalf of all DoD

L0:departments and agencies that awarded contracts covered by the Contractor's

L0:comprehensive subcontracting plan.

L1:(1) To determine the need for liquidated damages, the Contracting Officer will

L0:conduct a compliance review during the fiscal year after the close of the fiscal year for

L0:which the plan is applicable. The Contracting Officer will compare the approved
 L0:percentage or dollar goals to the total, actual subcontracting dollars covered by the plan.
 L1:(2) If the Contractor has failed to meet its approved subcontracting goal(s), the
 L0:Contracting Officer will provide the Contractor written notice specifying the failure,
 L0:advising of the potential for assessment of liquidated damages, and permitting the
 L0:Contractor to demonstrate what good faith efforts have been made. The Contracting
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19
 L0:Defense FAR Supplement (DFARS) Part 219
 L0:Officer may take the Contractor's failure to respond to the notice within 15 working
 L0:days (or longer period at the Contracting Officer's discretion) as an admission that no
 L0:valid explanation exists.
 L1:(3) If, after consideration of all relevant information, the Contracting Officer
 L0:determines that the Contractor failed to make a good faith effort to comply with the
 L0:comprehensive subcontracting plan, the Contracting Officer will issue a final decision to
 L0:the Contractor to that effect and require the Contractor to pay liquidated damages to
 L0:the Government in the amount identified in the comprehensive subcontracting plan.
 L1:(4) The Contractor shall have the right of appeal under the clause in this
 L0:contract entitled "Disputes" from any final decision of the Contracting Officer.
 L1:(g) Subcontracts. The Contractor shall include in subcontracts that offer
 L0:subcontracting opportunities, are expected to exceed the applicable threshold specified
 L0:in FAR 19.109(a)(1) on the date of subcontract award, and are required to include the
 L0:clause at FAR 52.219-8, Utilization of Small Business Concerns, the clauses at?
 L1:(1) FAR 52.219-9, Small Business Subcontracting Plan, and Defense Federal
 L0:Acquisition Regulation Supplement (DFARS) 252.219-7996, Small Business
 L0:Subcontracting Plan (DoD Contracts)-Basic;
 L1:(2) FAR 52.219-9, Small Business Subcontracting Plan, with its Alternate III,
 L0:and DFARS 252.219-7996, Small Business Subcontracting Plan (DoD Contracts)-
 L0:Alternate I, to allow for submission of SF 294s in lieu of ISRs; or
 L1:(3) DFARS 252.219-7997, Small Business Subcontracting Plan (Test Program),
 L0:in subcontracts with subcontractors that participate in the Test Program described in
L0:DFARS 219.206-70.
 L0:(End of clause)

252.219-7009 Section 8(a) Direct Award

Status: active

L0:252.219-7009 Section 8(a) Direct Award.
 L0:As prescribed in 219.108-10(1), use the following clause:
 L0:SECTION 8(a) DIRECT AWARD (OCT 2018)
 L1:(a) This contract is issued as a direct award between the contracting office and the
 L0:8(a) Contractor pursuant to the Partnership Agreement between the Small Business
 L0:Administration (SBA) and the Department of Defense. Accordingly, the SBA, even if
 L0:not identified in Section A of this contract, is the prime contractor and retains
 L0:responsibility for 8(a) certification, for 8(a) eligibility determinations and related issues,

L0:and for providing counseling and assistance to the 8(a) Contractor under the 8(a)

L0:Program. The cognizant SBA district office is:

L0:_____

L0:_____

L0:_____

L0:_____

L0:[To be completed by the Contracting Officer

L0:at the time of award]

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(b) The contracting office is responsible for administering the contract and for

L0:taking any action on behalf of the Government under the terms and conditions of the

L0:contract; provided that the contracting office shall give advance notice to the SBA before

L0:it issues a final notice terminating performance, either in whole or in part, under the

L0:contract. The contracting office also shall coordinate with the SBA prior to processing

L0:any novation agreement. The contracting office may assign contract administration

L0:functions to a contract administration office.

L1:(c) The 8(a) Contractor agrees that it will notify the Contracting Officer,

L0:simultaneous with its notification to the SBA (as required by SBA's 8(a) regulations at

L0:13 CFR 124.515), when the owner or owners upon whom 8(a) eligibility is based plan to

L0:relinquish ownership or control of the concern. Consistent with section 407 of Public

L0:Law 100-656, transfer of ownership or control shall result in termination of the contract

L0:for convenience, unless the SBA waives the requirement for termination prior to the

L0:actual relinquishing of ownership and control.

L0:(End of clause)

252.219-7010 Notification of Competition Limited to Eligible 8(a)

Status: active

L0:252.219-7010 Notification of Competition Limited to Eligible 8(a)

L0:Participants?Partnership Agreement.

L0:As prescribed in 219.108-10(2), use the following clause:

L0:NOTIFICATION OF COMPETITION LIMITED TO ELIGIBLE 8(A)

L0:PARTICIPANTS?PARTNERSHIP AGREEMENT (OCT 2019)

L1:(a) Offers are solicited only from small business concerns expressly certified by the

L0:Small Business Administration (SBA) for participation in SBA's 8(a) Program and

L0:which meet the following criteria at the time of submission of offer:

L1:(1) The Offeror is in conformance with the 8(a) support limitation set forth in its

L0:approved business plan.

L1:(2) The Offeror is in conformance with the Business Activity Targets set forth in

L0:its approved business plan or any remedial action directed by SBA.

L1:(3) If the competition is to be limited to 8(a) concerns within one or more specific

L0:SBA regions or districts, then the offeror's approved business plan is on the file and

L0:serviced by _____. [Contracting Officer completes by inserting

L0:the appropriate SBA District and/or Regional Office(s) as identified by SBA.]
L1:(b) By submission of its offer, the Offeror represents that it meets all of the criteria
L0:set forth in paragraph (a) of this clause.
L1:(c) Any award resulting from this solicitation will be made directly by the
L0:Contracting Officer to the successful 8(a) offeror selected through the evaluation criteria
L0:set forth in this solicitation.
L2:(d)(1) Unless SBA has waived the requirements of paragraphs (d)(1)(i) through (iii)
L0:and (d)(2) of this clause in accordance with 13 CFR 121.1204, a small business concern
L0:that provides an end item it did not manufacture, process, or produce, shall?
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19
L0:Defense FAR Supplement (DFARS) Part 219
L1:(i) Provide an end item that a small business has manufactured, processed,
L0:or produced in the United States or its outlying areas; for kit assemblers, see paragraph
L2:(d)(2) of this clause instead;
L1:(ii) Be primarily engaged in the retail or wholesale trade and normally sell
L0:the type of item being supplied; and
L1:(iii) Take ownership or possession of the item(s) with its personnel,
L0:equipment, or facilities in a manner consistent with industry practice; for example,
L0:providing storage, transportation, or delivery.
L1:(2) When the end item being acquired is a kit of supplies, at least 50 percent of
L0:the total cost of the components of the kit shall be manufactured, processed, or produced
L0:by small businesses in the United States or its outlying areas.
L1:(3) The requirements of paragraphs (d)(1)(i) through (iii) and (d)(2) of this
L0:clause do not apply to construction or service contracts.
L1:(e) The _____ [insert name of SBA's contractor] will notify the
L0:_____ [insert name of contracting agency] Contracting Officer in writing
L0:immediately upon entering an agreement (either oral or written) to transfer all or part
L0:of its stock or other ownership interest to any other party.
L0:(End of clause)

252.219-7011 Notification to Delay Performance

Status: active

L0:252.219-7011 Notification to Delay Performance.
L0:As prescribed in 219.108-10(3), use the following clause:
L0:NOTIFICATION TO DELAY PERFORMANCE (JUN 1998)
L0:The Contractor shall not begin performance under this purchase order until 2 working
L0:days have passed from the date of its receipt. Unless the Contractor receives
L0:notification from the Small Business Administration that it is ineligible for this 8(a)
L0:award, or otherwise receives instructions from the Contracting Officer, performance
L0:under this purchase order may begin on the third working day following receipt of the
L0:purchase order. If a determination of ineligibility is issued within the 2-day period, the
L0:purchase order shall be considered canceled.
L0:(End of clause)

252.219-7012 Competition for Religious-Related Services

Status: active

L0:252.219-7012 Competition for Religious-Related Services.

L0:As prescribed in 219.104-70(c), use the following provision:

L0:COMPETITION FOR RELIGIOUS-RELATED SERVICES (APR 2018)

L1:(a) Definition. As used in this provision?

L0:Nonprofit organization? means any organization that is?

L1:(1) Described in section 501(c) of the Internal Revenue Code of 1986; and

L1:(2) Exempt from tax under section 501(a) of that Code.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(b) A nonprofit organization is not precluded from competing for a contract for

L0:religious-related services to be performed on a United States military installation

L0:notwithstanding that a nonprofit organization is not a small business concern as

L0:identified in FAR 19.000(a)(3).

L1:(c) If the apparently successful offeror has not represented in its quotation or offer

L0:that it is a small business concern identified in FAR 19.000(a)(3), as appropriate to the

L0:solicitation, the Contracting Officer will verify that the offeror is registered in the

L0:System for Award Management database as a nonprofit organization.

L0:(End of provision)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L0:PGI 219?SMALL BUSINESS

L0:PGI 219.1?PRESOLICITATION

L0:PGI 219.102 Coordination

L2:(a)(1) Small business specialists are appointed and perform functions in accordance

L0:with DoD Instruction (DoDI) 4205.01, DoD Small Business Programs. In the DoDI, small

L0:business specialists are called ?small business professionals.?

L1:(2) The responsibility for assigning small business technical advisors is delegated to

L0:the head of the contracting activity.

L2:(g)(1) Small business specialists?

L1:(i) Review and make recommendations for all acquisitions over the micro-

L0:purchase threshold, except those under the simplified acquisition threshold that are totally

L0:set aside for small business concerns (see FAR 19.104-1);

L1:(ii) Review acquisitions before issuance of the solicitation or contract

L0:modification, and document it on DD Form 2579, Small Business Coordination Record (see

L0:PGI 253.219-70 for instructions on completing the form); and

L1:(iii) Refer recommendations that have been rejected by the contracting officer to

L0:the Small Business Administration (SBA) procurement center representative. If an SBA

L0:procurement center representative is not assigned, see FAR 19.102(b)(2).

L2:(2)(i) Agencies may require small business specialists to review actions over the

L0:micro-purchase threshold, but under the simplified acquisition threshold, that are totally set

L0:aside for small business. Such reviews may be conducted when the agency determines a

L0:review is necessary to assist contracting officers in identifying opportunities for other small

L0:business set-aside programs (e.g., HUBZone, service-disabled veteran-owned, small L0:disadvantaged business, women-owned small business) to meet small business goals.

L1:(ii) Small business specialists should review contract or order modifications that L0:increase the scope. At a minimum, these modifications can impact subcontracting plans.

L0:Funding-only modifications or those not increasing scope generally should not be reviewed L0:due to minimal added value.

L0:PGI 219.108 Contracting With the Small Business Administration (the 8(a) Program).

L0:PGI 219.108-1 General.

L0:A copy of the Partnership Agreement (PA) between DoD and the Small Business L0:Administration (SBA) is available here.

L0:PGI 219.108-3 Selecting acquisitions for the 8(a) Program.

L1:(1) Contracting activities should respond to SBA requests for contract support within 30 L0:calendar days after receipt.

L1:(2) Before considering a small business set-aside, review the acquisition for offering L0:under the 8(a) Program.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L0:PGI 219.108-4 Evaluation, offering, and acceptance.

L1:(1) For requirements processed under the PA cited in DFARS 219.108-1, the notification L0:to the SBA shall clearly indicate that the requirement is being processed under the PA. See L0:DFARS 219.208-3(a)(ii) for procedures related to purchase orders that do not exceed the L0:simplified acquisition threshold. All notifications should be submitted in writing and shall L0:specify that?

L1:(i) Under the PA, an SBA acceptance or rejection of the offering is required within 5 L0:working days of receipt of the offering; and

L2:(ii)(A) For sole source requirements, an SBA acceptance shall include a size L0:verification and a determination of the 8(a) firm's program eligibility, and, upon acceptance, L0:the contracting officer will solicit a proposal, conduct negotiations, and make award directly L0:to the 8(a) firm; or

L1:(B) For competitive requirements, upon acceptance, the contracting officer L0:will solicit offers, conduct source selection, and, upon receipt of an eligibility verification, L0:award a contract directly to the selected 8(a) firm.

L1:(2) Under the PA cited in DFARS 219.108-1, no separate agency offering or SBA L0:acceptance is needed for requirements that are issued under purchase orders that do not L0:exceed the simplified acquisition threshold. After an 8(a) contractor has been identified, the L0:contracting officer will establish the prices, terms, and conditions with the 8(a) contractor and L0:prepare a purchase order, including the applicable clauses required by DFARS 219.108-10.

L0:No later than the day that the purchase order is provided to the 8(a) contractor, the L0:contracting officer will provide to the cognizant SBA Business Opportunity Specialist via L0:email or any other means acceptable to the SBA district office?

L1:(i) A copy of the signed purchase order; and

L1:(ii) A notice stating that the purchase order is being processed under the PA. The L0:notice also shall indicate that the 8(a) contractor will be deemed eligible for award and will L0:automatically begin work under the purchase order unless, within 2 working days after SBA's L0:receipt of the purchase order, the 8(a) contractor and the contracting officer are notified that

L0:the 8(a) contractor is ineligible for award.

L1:(3) The notification to SBA must identify any joint venture proposed for performance of
L0:the contract. SBA must approve a joint venture before award of an 8(a) contract involving
L0:the joint venture.

L1:(4) For competitive requirements for construction to be performed overseas, submit the
L0:notification to SBA Headquarters.

L1:(5) For requirements processed under the PA cited in DFARS 219.108-1, SBA's
L0:acceptance is required within 5 working days (but see DFARS 219.208-3(a)(ii) for
L0:procedures related to purchase orders that do not exceed the simplified acquisition
L0:threshold).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L0:PGI 219.2?EVALUATION AND AWARD

L0:PGI 219.204 Certificate of Competency.

L0:When making a small business concern nonresponsibility determination, the contracting
L0:officer will notify the contracting activity's small business specialist.

L1:(1) Resolving differences between the agency and the Small Business Administration.

L1:(i) If the contracting officer believes the agency should appeal, the contracting
L0:officer must immediately inform the department or agency director of the Office of Small
L0:Business Programs (OSBP) and send to the director, through departmental channels?

L1:(A) A request for appeal, summarizing the issues. The director OSBP must
L0:receive the request within 5 working days after receipt of the SBA Headquarters' written
L0:position; and

L1:(B) An appeal file, documenting the contracting activity's position. The director
L0:OSBP must receive the appeal file within 5 working days after transmission of the request
L0:for appeal.

L1:(ii) The department or agency director OSBP will determine whether the agency will
L0:appeal and will notify the SBA of the agency's intent.

L0:PGI 219.206 Evaluating small business subcontracting plans.

L0:PGI 219.206-3 Reviewing the subcontracting plan.

L0:When reviewing the subcontracting plan, contracting officers may use the document entitled
L0:DoD Checklist for Reviewing Subcontracting Plans. The document is available at
L0:<https://business.defense.gov/Acquisition/Subcontracting/DoD-CSP/Subcontracting-Guide/>.

L0:PGI 219.208 Evaluating and awarding under the 8(a) Program.

L0:PGI 219.208-1 Procedures for competitive 8(a).

L3:(b)(1)(A) For requirements processed under the PA cited in DFARS 219.108-1?

L1:(1) For sealed bid and negotiated acquisitions, the SBA will determine
L0:the eligibility of the firms and will advise the contracting officer within 2 working days after its
L0:receipt of a request for an eligibility determination; and

L1:(2) For negotiated acquisitions, the contracting officer may submit a
L0:request for an eligibility determination on all firms in the competitive range if discussions are
L0:to be conducted, or on all firms with a realistic chance of award if no discussions are to be
L0:conducted.

L0:PGI 219.208-2 Contract negotiation.

L0:For requirements processed under the PA cited in DFARS 219.108-1?

L1:(1) The agency may negotiate directly with the 8(a) contractor. The contracting officer is responsible for initiating negotiations;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(2) The 8(a) contractor is responsible for negotiating within the time established by the contracting officer;

L1:(3) If the 8(a) contractor does not negotiate within the established time and the agency cannot allow additional time, the contracting officer may, after notifying the SBA, proceed with the acquisition from other sources;

L1:(4) If requested by the 8(a) contractor, the SBA may participate in negotiations; and

L1:(5) SBA approval of the contract is not required.

L0:PGI 219.208-7 Preparing the contracts.

L1:(1) Sole source or competitive awards under the PA cited in DFARS 219.108-1 may be made directly to the 8(a) contractor and, except as provided in paragraph (2) of this subsection, award documents shall be prepared in accordance with procedures established for non-8(a) contracts, using any otherwise authorized award forms. The "Issued by" block shall identify the awarding DoD contracting office. The contractor's name and address shall be that of the 8(a) participant.

L1:(2) Use the following alternative procedures for direct awards made under the PA:

L1:(i) Cite 10 U.S.C. 3204(a)(5) as the authority for use of other than full and open competition.

L1:(ii) Include the clause at DFARS 252.219-7009, Section 8(a) Direct Award, in accordance with the prescription at DFARS 219.108-10(1). Identify the cognizant SBA district office for the 8(a) contractor.

L1:(iii) No SBA contract number is required.

L1:(iv) Do not require an SBA signature on the award document.

L0:PGI 219.3?POSTAWARD

L0:PGI 219.302 Small business subcontracting plans.

L0:PGI 219.302-2 Compliance with the plan.

L0:When reviewing subcontracting reports, contracting officers may use the document entitled

L0:"DoD Subcontracting Program?Business Rules and Processes for (1) Electronic

L0:Subcontracting Reporting System (eSRS) and (2) Preparing and Reviewing Related

L0:Subcontract Reports." The document is available at

L0:<https://business.defense.gov/Acquisition/Subcontracting/DoD-CSP/Subcontracting-Guide/>.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L0:PGI 253?FORMS

L0:PGI 253.219 Small Business Programs.

L0:PGI 253.219-70 DD Form 2579, Small Business Coordination Record.

L1:(a) Use the DD Form 2579 as prescribed in PGI 219.102(g)(1)(ii).

L1:(b) General instructions.

L1:(1) The Contracting Officer is responsible for coordinating and the completion of the form.

L1:(2) Coordination on this form is not required when the agency will satisfy a

L0:requirement through the use of a mandatory source listed at FAR 8.101, 8.102, or 8.103.

L1:(c) Specific instructions for completion of DD Form 2579.

L1:(1) BLOCK 1?CONTROL NO. Reserved for use by the Small Business

L0:Professional to create a unique identification number for each coordination record.

L1:(2) BLOCK 2?PURCHASE REQUEST/REQUISITION NO. Locally assigned

L0:purchase request/requisition number.

L1:(3) BLOCK 3?TOTAL ESTIMATED VALUE. Enter the total estimated value for the

L0:acquisition, including all options. For multiple award task or delivery order contracts, enter

L0:the total estimated value of the entire acquisition including all orders expected to be

L0:awarded.

L1:(4) BLOCKS 4a and 4b:

L1:(i) Block 4a?PROCUREMENT INSTRUMENT IDENTIFIER (PIID). Enter the

L0:PIID assigned to the solicitation, contract, or order in Block 4a. (FAR 4.201, DFARS

L0:204.201).

L1:(ii) Block 4b?INDEFINITE DELIVERY VEHICLE (IDV) PIID. If applicable,

L0:enter the PIID assigned to the IDV against which the solicitation or order identified in Block

L0:4a is issued.

L1:(5) BLOCK 5?MODIFICATION/AMENDMENT NUMBER (MOD/AMDMT No.).

L0:Enter the contract or order modification number or solicitation amendment number. (FAR

L0:4.201, DFARS 204.201).

L1:(6) BLOCKS 6a through 6e?CONTRACTING OFFICER NAME, DOD ACTIVITY

L0:ADDRESS CODE (DODAAC), OFFICE SYMBOL, EMAIL ADDRESS, PHONE NO. Enter

L0:the appropriate information in Blocks 6a through 6e.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(7) BLOCKS 7a through 7d:

L1:(i) BLOCK 7a?ITEM and/or SERVICE DESCRIPTION. Enter description of

L0:planned acquisition, including quantity, unique delivery requirements, and other descriptors.

L0:For services, include the type of service and place of performance, and attach a copy of the

L0:Performance Work Statement (PWS), Statement of Work (SOW), Statement of Objectives

L1:(SOO), or other specifications and statements as appropriate.

L1:(ii) BLOCK 7b?PRODUCT OR SERVICE CODE (PSC). For the Product and

L0:Service Codes Manual, go to <http://acquisition.gov>.

L1:(iii) BLOCK 7c?NORTH AMERICAN INDUSTRY CLASSIFICATION (NAICS)

L0:CODE. For the NAICS codes and definitions, go to www.census.gov/naics.

L1:(iv) BLOCK 7d?SMALL BUSINESS SIZE STANDARD. For the applicable

L0:small business size standard, go to <http://www.sba.gov/content/table-small-business-size->

L0:standards.

L1:(8) BLOCK 8?PERIOD OF PERFORMANCE/DELIVERY DATES. Enter the

L0:estimated beginning and end dates.

L1:(9) BLOCK 9?PURPOSE OF COORDINATION. Check one box indicating the

L0:purpose of the action being reviewed: Initial Coordination, Withdrawal (see FAR

L0:19.205(d)(2)), or a Change to the form. Note: Any significant change in the acquisition

L0:strategy or plan described on this form will require reevaluation by the Small Business

L0:Professional and the Small Business Administration (SBA) Procurement Center

L0:Representative (PCR), if applicable.

L1:(10) BLOCKS 10a through 10j?RECOMMENDATION. Check all that apply, e.g., a

L0:small business set-aside could also be a multiple-award. For Blocks 10c through 10f, attach

L0:justification if applicable in accordance with FAR 19.105-3, 19.106-3, or 19.107-3.

L1:(11) BLOCKS 11a through 11c:

L1:(i) BLOCK 11a?ACQUISITION PLAN/MARKET RESEARCH. Attach the

L0:written acquisition plan (FAR 7.103), if required, and the results of market research,

L0:including any resulting justification and approval (FAR 6.104) or sole source/brand name

L0:justification (FAR 12.102). Include findings that demonstrate efforts to locate qualified small

L0:business sources, such as results of presolicitation notices (FAR 5.101) or waivers to the

L0:nonmanufacturer rule (FAR 19.104-1(f)(3)(i)), and attach additional pages as necessary.

L1:(ii) BLOCK 11b?SYNOPSIS REQUIRED. See FAR 5.101, Presolicitation

L0:notice. Check ?Yes? or ?No.? If ?No,? provide explanation and the exception under FAR

L0:5.101(b), if applicable.

L1:(iii) BLOCK 11c?SMALL BUSINESS PROGRESS PAYMENTS. Check ?Yes?

L0:or ?No? (DFARS 232.501-1(a)).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(12) BLOCK 12?CONSOLIDATED OR BUNDLED. Select either ?Consolidated? or

L0:?Bundled,? and check ?Yes? or ?No? for each. If ?Yes,? attach required documentation for

L0:consolidation or bundling (FAR 7.107).

L1:(13) BLOCK 13?SUBCONTRACTING PLAN REQUIRED. See FAR 19.109.

L0:Check ?Yes? or ?No.? For recommendations 10g, 10h, or 10i, or if Block 12 recommendation

L0:is ?Yes,? specify actions that will be taken to maximize small business participation.

L0:Consider requirements of FAR 19.109, acquisition history, anticipated subcontracting goals,

L0:market research to identify small business capability at the subcontract level, source

L0:selection evaluation factor for small business utilization (FAR 15.104, DFARS215.104),

L0:incentives, contract performance metrics, etc. State detailed objectives for subcontract

L0:(attach additional pages as necessary).

L1:(14) BLOCKS 14a through 14c?ACQUISITION HISTORY:

L1:(i) BLOCK 14a?NEW REQUIREMENT. Check ?Yes? or ?No? and follow the

L0:applicable guidance for each selection.

L1:(ii) BLOCK 14b?PREVIOUSLY CONSOLIDATED OR BUNDLED. Check

L0:?Yes? or ?No? for each. If ?Yes,? attach required documentation for previous acquisition.

L0:(See FAR 7.107.)

L1:(iii) BLOCK 14c?DETAILS OF PREVIOUS AWARD(S). For each contractor

L0:that received an award for any portion of the immediately preceding acquisition, include the

L0:following information (attach additional pages as necessary)?

L0:?Name and CAGE code.

L0:?Small business socioeconomic categories of the awardee.

L0:?PIID.

L0:?NAICS code and size standard.

L0:?Contract type.

L0:?Period of performance.

L0:Total contract value.

L0:Subcontracting History. (Small business subcontracting goal achievement

L0:(CPARS and eSRS data) and any additional small business utilization requirements

L0:included in the contract resulting from a source selection factor used when making the

L0:previous contract award.)

L1:(15) BLOCK 15a through 15d?CONTRACTING OFFICER SIGNATURE.

L0:Complete 15a through 15d. Digital signature is desired.

L1:(16) BLOCKS 16 through 16f?SMALL BUSINESS PROFESSIONAL/SMALL

L0:BUSINESS DIRECTOR REVIEW. Complete 16 through 16f. Digital signature is desired. If

L0:non-concur? is checked, attach rationale or include in Block 16f, along with any other

L0:remarks. Block 16e must be completed when any of the conditions in FAR 19.102(e)

L0:applies to indicate when the acquisition package was provided to the Small Business

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L0:Administration (SBA).

L1:(17) BLOCKS 17 through 17e?SBA PROCUREMENT CENTER

L0:REPRESENTATIVE (PCR) REVIEW. Complete 17 through 17e (see FAR 19.102(b)(2)

L0:when a PCR is not assigned to the contracting activity or administration office). Digital

L0:signature is desired. If non-concur? is checked, the PCR shall attach rationale and

L0:recommendations or include in Block 17e, along with any other remarks (see FAR

L0:19.102(e)(4)).

L1:(18) BLOCKS 18 through 18c?CONTRACTING OFFICER REVIEW. The

L0:Contracting Officer shall complete this block if the Small Business Professional and/or the

L0:SBA PCR have non-concurred? in Blocks 16 and 17. Block 18c shall include the

L0:Contracting Officer's rationale for decision. Send copies of the completed form to the Small

L0:Business Professional and the SBA PCR within 5 working days if rejecting the PCR's

L0:recommendation, in accordance with FAR 19.102(f).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L0:APPENDIX I?POLICY AND PROCEDURES FOR THE DOD MENTOR-

L0:PROTÉGÉ PROGRAM

L0:I-100 Purpose.

L1:(a) This appendix implements the DoD Mentor-Protégé Program (referred to as the

L0:Program) authorized under 10 U.S.C. 4902. The purpose of the Program is to provide

L0:incentives to DoD contractors to furnish eligible small business concerns with

L0:assistance designed to?

L1:(1) Enhance the capabilities of eligible small business concerns to perform as

L0:subcontractors and suppliers under DoD contracts and other contracts and

L0:subcontracts; and

L1:(2) Increase the participation of such business concerns as subcontractors and

L0:suppliers under DoD contracts, other Federal Government contracts, and commercial

L0:contracts.

L1:(b) Under the Program, eligible companies approved as mentor firms will enter into

L0:mentor-protégé agreements with eligible protégé firms to provide appropriate

L0:developmental assistance to enhance the capabilities of the protégé firms to perform as
L0:subcontractors and suppliers. DoD may provide the mentor firm with either cost
L0:reimbursement or credit against applicable subcontracting goals established under
L0:contracts with DoD or other Federal agencies.

L1:(c) DoD will measure the overall success of the Program by the extent to which the
L0:Program results in?

L1:(1) An increase in the dollar value of contract and subcontract awards to
L0:protégé firms (under DoD contracts, contracts awarded by other Federal agencies, and
L0:commercial contracts) from the date of their entry into the Program until 5 years after
L0:the conclusion of the agreement;

L1:(2) An increase in the number and dollar value of subcontracts awarded to a
L0:protégé firm (or former protégé firm) by its mentor firm (or former mentor firm);

L1:(3) An increase in protégé participation in DoD science and technology
L0:programs; and

L1:(4) An increase in job creation of protégé firms from the date of execution of the
L0:mentor-protégé agreement until 5 years after completion of the mentor-protégé
L0:agreement.

L1:(d) This policy sets forth the procedures for participation in the Program applicable
L0:to companies that are interested in receiving?

L1:(1) Reimbursement through a separate contract line item in a DoD contract or a
L0:separate contract with DoD; or

L1:(2) Credit toward applicable subcontracting goals for costs incurred under the
L0:Program.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L0:I-101 Definitions.

L0:As used in this appendix?

L0:Affiliation? means, with respect to a relationship between a mentor firm and a
L0:protégé firm, a relationship described under 13 CFR 121.103.

L0:Eligible entity employing the severely disabled? means a business entity operated
L0:on a for-profit or nonprofit basis that?

L1:(1) Uses rehabilitative engineering to provide employment opportunities for
L0:severely disabled individuals and integrates severely disabled individuals into its
L0:workforce;

L1:(2) Employs severely disabled individuals at a rate that averages not less than
L0:20 percent of its total workforce;

L1:(3) Employs each severely disabled individual in its workforce generally on the
L0:basis of 40 hours per week; and

L1:(4) Pays not less than the minimum wage prescribed pursuant to section 6 of
L0:the Fair Labor Standards Act (29 U.S.C. 206) to those employees who are severely
L0:disabled individuals.

L0:Severely disabled individual? means an individual who is blind or severely disabled
L0:as defined in 41 U.S.C. 8501.

L0:I-102 Participant eligibility.

L1:(a) To be eligible to participate as a mentor, an entity must?

L1:(1) Be a for-profit entity that is eligible for the award of Federal contracts;
L1:(2) Demonstrate that it?
L1:(i) Is qualified to provide assistance that will contribute to the purpose of
L0:the Program;
L1:(ii) Is of good financial health and character;
L1:(iii) Is not on a Federal list of debarred or suspended contractors; and
L1:(iv) Is an other than small business concern, unless approved by the
L0:Director of the Office of Small Business Programs (OSBP), Office of the Assistant
L0:Secretary of Defense, Industrial Base Policy (OASD(IBP)), in accordance with 13 CFR

121.103 regarding ?affiliation and relationship?; and

Status: active

L0:121.103 regarding ?affiliation and relationship?; and
L1:(3) Be capable of imparting value to a protégé firm because of experience gained
L0:as a DoD contractor or through knowledge of general business operations and
L0:Government contracting, as demonstrated by evidence that such entity?
L1:(i) Received DoD contracts and subcontracts equal to or greater than \$25
L0:million during the previous fiscal year;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19
L0:Defense FAR Supplement (DFARS) Part 219
L1:(ii) Is a prime contractor to DoD with an active subcontracting plan;
L1:(iii) Has graduated from the 8(a) Business Development Program and
L0:provides documentation of its ability to serve as a mentor; or
L1:(iv) Is otherwise capable to assist in the development of protégé firms and is
L0:approved by the Director OSBP, OASD(IBP).
L1:(b) To be eligible to participate as a protégé, an entity must be?
L1:(1) A small business concern;
L1:(2) Eligible for the award of Federal contracts;
L1:(3) Not more than the Small Business Administration (SBA) size standard for
L0:its primary North American Industry Classification System (NAICS) code;
L1:(4) Not owned or managed by individuals or entities that directly or indirectly
L0:have stock options or convertible securities in the mentor firm; and
L1:(5) At least one of the following:
L1:(i) A qualified HUBZone small business concern.
L1:(ii) A women-owned small business concern.
L1:(iii) A service-disabled veteran-owned small business concern.
L1:(iv) An entity owned and controlled by an Indian tribe.
L1:(v) An entity owned and controlled by a Native Hawaiian organization.
L1:(vi) An entity owned and controlled by socially and economically
L0:disadvantaged individuals.
L1:(vii) A qualified organization employing severely disabled individuals.
L1:(viii) A nontraditional defense contractor.
L1:(ix) An entity that currently provides goods or services in the private sector

L0:that are critical to enhancing the capabilities of the defense supplier base and fulfilling
L0:key DoD needs.

L1:(c) Mentor firms may rely in good faith on a written representation that the entity

L0:meets the requirements of paragraph (b) of this section, except that a mentor firm is

L0:required to confirm a protégé's status as a HUBZone small business concern (see FAR

L0:19.302-2).

L1:(d) If at any time the SBA (or DoD in the case of entities employing severely

L0:disabled individuals) determines that a protégé is ineligible, assistance the mentor firm

L0:furnishes to the protégé after the date of the determination may not be considered

L0:assistance furnished under the Program.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(e) A mentor firm may not enter into an agreement with a protégé firm if SBA has

L0:made a determination of affiliation. If SBA has not made such a determination and if

L0:the DoD OSBP has reason to believe, based on SBA's regulations regarding affiliation,

L0:that the mentor firm is affiliated with the protégé firm, then DoD OSBP will request a

L0:determination regarding affiliation from SBA.

L1:(f) A company may not be approved for participation in the Program as a mentor

L0:firm if, at the time of requesting participation in the Program, it is currently debarred

L0:or suspended from contracting with the Federal Government pursuant to FAR subpart

L0:9.4.

L1:(g) If the mentor firm is suspended or debarred while performing under an approved

L0:mentor-protégé agreement, the mentor firm?

L1:(1) May continue to provide assistance to its protégé firms in accordance with

L0:the approved mentor-protégé agreement entered into prior to the imposition of such

L0:suspension or debarment;

L1:(2) May not be reimbursed or take credit for any costs of providing

L0:developmental assistance to its protégé firm, incurred more than 30 days after the

L0:imposition of such suspension or debarment; and

L1:(3) Must promptly give notice of its suspension or debarment to its protégé firm

L0:and the Director, OSBP, of the cognizant military department or defense agency.

L1:(h) Within 30 days of any change in status affecting eligibility, mentors and

L0:protégés must give notice and explanation of pertinent facts to each other, the Director

L0:of OSBP, OASD(IBP), and the Director, OSBP, of the military department or defense

L0:agency.

L0:I-103 Incentives for mentors.

L0:Mentors incurring costs through September 30, 2026, pursuant to a mentor-protégé

L0:agreement approved prior to December 23, 2022, and mentors incurring costs pursuant

L0:to a mentor-protégé agreement approved on or after December 23, 2023, may be eligible

L0:for?

L1:(a) Credit toward the attainment of its applicable subcontracting goals for

L0:unreimbursed costs incurred in providing developmental assistance to its protégé

L0:firm(s);

L1:(b) Reimbursement pursuant to the execution of a separately priced contract line

L0:item added to a DoD contract; or

L1:(c) Reimbursement pursuant to entering into a separate DoD contract upon

L0:determination by the Director, OSBP, of the cognizant military department or defense

L0:agency that unusual circumstances justify using a separate contract.

L0:I-104 Selection of protégé firms.

L1:(a) Mentor firms will be solely responsible for selecting protégé firms that qualify

L0:under I-102(b). Mentor firms are encouraged to identify and select concerns that have

L0:not previously received significant prime contract awards from DoD or any other

L0:Federal agency.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(b) The selection of protégé firms by mentor firms may not be protested, except as in

L0:paragraph (c) of this section.

L1:(c) Any interested party may file a protest of the selection of a protégé firm directly

L0:with the Director, OSBP, OASD (IBP) or the Director, OSBP, of the cognizant military

L0:department or defense agency. In the event of a protest regarding the size or status of

L0:an entity selected to be a protégé firm, the Director, OSBP, OASD(IBP), or the Director,

L0:OSBP, of the military department or defense agency must refer the protest to the SBA

L0:to resolve in accordance with 13 CFR part 121 (with respect to size) or other parts of

L0:title 13 of the CFR or this appendix (with respect to the protégé's socioeconomic status).

L0:The Director, OSBP, OASD(IBP), or the Director, OSBP, of the military department or

L0:defense agency shall decide protests concerning all other aspects of a protégé's eligibility

L0:for the Program (e.g., nontraditional defense contractor or entity employing the severely

L0:disabled).

L1:(d) For purposes of the Small Business Act, no determination of affiliation or control

L0:(either direct or indirect) may be found between a protégé firm and its mentor firm on

L0:the basis that the mentor firm has agreed to furnish (or has furnished) to its protégé

L0:firm, pursuant to a mentor-protégé agreement, any form of developmental assistance

L0:described in I-106(d).

L1:(e) A protégé firm may not be a party to more than one DoD mentor-protégé

L0:agreement at a time and may only participate in the Program during the 5-year period

L0:beginning on the date the protégé firm enters into its first mentor-protégé agreement.

L0:This does not preclude a protégé firm from concurrent participation in mentor-protégé

L0:programs with other agencies.

L0:I-105 Mentor approval process.

L1:(a) An entity seeking to participate as a mentor must apply to the Mentor-Protégé

L0:Program Director, OSBP, OASD(IBP), to establish its initial eligibility as a mentor.

L1:(b) The application must provide the following information:

L1:(1) A statement that the entity meets the requirements in I-102(a), specifying

L0:the criteria in I-102(a)(3) under which the entity is applying.

L1:(2) A summary of the entity's historical and recent activities and

L0:accomplishments under its small and disadvantaged business utilization program.

L1:(3) The total dollar amount of DoD contracts and subcontracts that the entity

L0:received during the 2 preceding fiscal years. (Show prime contracts and subcontracts

L0:separately per year.)

L1:(4) The total dollar amount of all other Federal agency contracts and
L0:subcontracts that the entity received during the 2 preceding fiscal years. (Show prime
L0:contracts and subcontracts separately per year.)

L1:(5) The total dollar amount of subcontracts that the entity awarded under DoD
L0:contracts during the 2 preceding fiscal years.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19
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L1:(6) The total dollar amount of subcontracts that the entity awarded under all
L0:other Federal agency contracts during the 2 preceding fiscal years.

L1:(7) The total dollar amount and percentage of subcontracts that the entity
L0:awarded to firms qualifying under I-102(b)(5)(ii) through (viii) during the 2 preceding
L0:fiscal years. (Show DoD subcontract awards separately.) If the entity was required to
L0:submit a Summary Subcontract Report (SSR) in the Electronic Subcontracting
L0:Reporting System, the request must include copies of the final reports for the 2
L0:preceding fiscal years.

L1:(8) Information on the company's ability to provide developmental assistance to
L0:eligible protégés.

L1:(c) A template of the mentor application is available at
L0:<https://business.defense.gov/Programs/Mentor-Protégé-Program/MPP-Resources/>.

L1:(d) Companies that apply for participation and are not approved will be provided
L0:the reasons and an opportunity to submit additional information for reconsideration.
L0:I-106 Development of mentor-protégé agreements.

L1:(a) Prospective mentors and their protégés may choose to execute letters of intent
L0:prior to negotiation of mentor-protégé agreements.

L1:(b) The agreements should be structured after completion of a preliminary
L0:assessment of the developmental needs of the protégé firm and mutual agreement
L0:regarding the developmental assistance to be provided to address those needs and
L0:enhance the protégé's ability to perform successfully under contracts or subcontracts.

L1:(c) A mentor firm may not require a protégé firm to enter into a mentor-protégé
L0:agreement as a condition for award of a contract by the mentor firm, including a
L0:subcontract under a DoD contract awarded to the mentor firm.

L1:(d) The mentor-protégé agreement may provide for the mentor firm to furnish any
L0:or all of the following types of developmental assistance:

L1:(1) Assistance by mentor firm personnel in?

L1:(i) General business management, including organizational management,
L0:financial management, and personnel management, marketing and technology
L0:commercialization, compliance systems, and overall business planning;

L1:(ii) Engineering and technical matters such as production, inventory
L0:control, manufacturing, test and evaluation, quality assurance; acquisition or transfer
L0:of hardware, tooling, or software; and technology transfer and transition; and

L1:(iii) Any other assistance designed to develop the capabilities of the protégé
L0:firm under the developmental program described in I-107(g).

L1:(2) Award of subcontracts to the protégé firm under DoD contracts or other
L0:contracts on a noncompetitive basis.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(3) Payment of progress payments for the performance of subcontracts by a

L0:protégé firm in amounts as provided for in the subcontract; but in no event may any

L0:such progress payment exceed 100 percent of the costs incurred by the protégé firm for

L0:the performance of the subcontract. Provision of progress payments by a mentor firm to

L0:a protégé firm at a rate other than the customary rate for the firm must be

L0:implemented in accordance with FAR 32.504(c).

L1:(4) Advance payments under such subcontracts. The mentor firm must

L0:administer advance payments in accordance with FAR subpart 32.4.

L1:(5) Loans.

L1:(6) Assistance that the mentor firm obtains for the protégé firm from one or

L0:more of the following:

L1:(i) Small Business Development Centers (15 U.S.C. 648).

L1:(ii) Entities providing procurement technical assistance under the

L0:Procurement Technical Assistance Cooperative Agreement Program (10 U.S.C. Chapter

L0:388).

L1:(iii) Historically Black colleges and universities.

L1:(iv) Minority institutions of higher education.

L1:(v) Women's business centers (15 U.S.C. 656).

L1:(vi) Manufacturing innovation institutes.

L1:(e) Pursuant to FAR 31.109, approved mentor firms seeking either reimbursement

L0:or credit are strongly encouraged to enter into an advance agreement with the

L0:contracting officer responsible for determining final indirect cost rates under FAR 42.5.

L0:The purpose of the advance agreement is to establish the accounting treatment of the

L0:costs of the developmental assistance pursuant to the mentor-protégé agreement prior

L0:to the incurring of any costs by the mentor firm. An advance agreement is an attempt

L0:by both the Government and the mentor firm to avoid possible subsequent dispute

L0:based on questions related to reasonableness, allocability, or allowability of the costs of

L0:developmental assistance under the Program. Absent an advance agreement, mentor

L0:firms are advised to establish the accounting treatment of such costs and to address the

L0:need for any changes to their cost accounting practices that may result from the

L0:implementation of a mentor-protégé agreement, prior to incurring any costs, and

L0:irrespective of whether costs will be reimbursed or credited.

L1:(f) Developmental assistance provided under an approved mentor-protégé

L0:agreement is distinct from, and must not duplicate, any effort that is the normal and

L0:expected product of the award and administration of the mentor firm's subcontracts.

L0:Costs associated with the latter must be accumulated and charged in accordance with

L0:the contractor's approved accounting practices; they are not considered developmental

L0:assistance costs eligible for either credit or reimbursement under the Program.

L1:(g) The agreement shall demonstrate, through its execution, how it will contribute

L0:to the overall mission of DoD and/or fill or address an identified critical gap or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L0:vulnerability. Focus areas include, but are not limited to, manufacturing, research and

L0:development, and knowledge-based services.

L0:I-107 Elements of a mentor-protégé agreement.

L0:Each mentor-protégé agreement shall contain?

L1:(a) The name, address, email address, and telephone number of the mentor and

L0:protégé points of contact;

L1:(b) The NAICS code(s) that represent the contemplated supplies or services to be

L0:provided by the protégé firm to the mentor firm and a statement that, at the time the

L0:agreement is submitted for approval, the protégé firm does not exceed the size standard

L0:in I-102(b)(3);

L1:(c) A statement that the protégé firm is eligible to participate in accordance with I-

L0:102(b);

L1:(d) A statement that the mentor is eligible to participate in accordance with I-

L0:102(a);

L1:(e) Assurances that?

L1:(1) The mentor firm does not share, directly or indirectly, with the protégé firm

L0:ownership or management of the protégé firm;

L1:(2) The mentor firm does not have an agreement, at the time the mentor firm

L0:enters into a mentor-protégé agreement, to merge with the protégé firm;

L1:(3) The owners and managers of the mentor firm are not the parent, child,

L0:spouse, sibling, aunt, uncle, niece, nephew, grandparent, grandchild, or first cousin of

L0:an owner or manager of the protégé firm;

L1:(4) The mentor firm has not, during the 2-year period before entering into a

L0:mentor-protégé agreement, employed any officer, director, principal stockholder,

L0:managing member, or key employee of the protégé firm;

L1:(5) The mentor firm has not engaged in a joint venture with the protégé firm

L0:during the 2-year period before entering into a mentor-protégé agreement, unless such

L0:joint venture was approved by SBA prior to making any offer on a contract;

L1:(6) The mentor firm is not, directly or indirectly, the primary party providing

L0:contracts to the protégé firm, as measured by the dollar value of the contracts; and

L1:(7) The SBA has not made a determination of affiliation or control;

L1:(f) A preliminary assessment of the developmental needs of the protégé firm;

L1:(g) A developmental program for the protégé firm, including?

L1:(1) The type of assistance the mentor will provide to the protégé and how that

L0:assistance will?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(i) Increase the protégé's ability to participate in DoD, Federal, and/or

L0:commercial contracts and subcontracts; and

L1:(ii) Increase small business subcontracting opportunities in industry

L0:categories where eligible protégés or other small business firms are not dominant in the

L0:company's vendor base;

L1:(iii) Increase the protégé firm's cybersecurity readiness posture and ability to

L0:comply with Federal acquisition regulations.

L1:(2) Factors to assess the protégé firm's developmental progress under the

L0:Program, including specific milestones for providing each element of the identified

L0:assistance;

L1:(3) A description of the quantitative and qualitative benefits to DoD from the
 L0:agreement, if applicable; and

L1:(4) Goals for additional awards for which the protégé firm can compete outside
 L0:the Program;

L1:(h) The assistance the mentor will provide to the protégé firm in understanding
 L0:Federal contract regulations, including the FAR and DFARS, after award of a
 L0:subcontract under the Program, if applicable;

L1:(i) An estimate of the dollar value and type of subcontracts that the mentor firm will
 L0:award to the protégé firm, and the period of time over which the subcontracts will be
 L0:awarded;

L1:(j) A statement from the protégé firm indicating its commitment to comply with the
 L0:requirements for reporting and for review of the agreement during the duration of the
 L0:agreement and for 5 years thereafter;

L1:(k) A program participation term for the agreement that does not exceed 3 years.
 L0:The agreement may be extended for a period not to exceed 2 years if approved by the
 L0:Director, OSBP, OASD(IBP). The Director, OSBP, of the cognizant military
 L0:department or defense agency will submit requests for an extension of the agreement to
 L0:the Director, OSBP, OASD(IBP) for approval. The request will include a justification
 L0:describing the unusual circumstances that warrant a term in excess of 3 years;

L1:(l) Procedures for the mentor firm to notify the protégé firm in writing at least 30
 L0:days in advance of the mentor firm's intent to voluntarily withdraw its participation in
 L0:the Program. A mentor firm may voluntarily terminate its mentor-protégé
 L0:agreement(s) only if it no longer wants to be a participant in the Program as a mentor
 L0:firm. Otherwise, a mentor firm must terminate a mentor-protégé agreement for cause;

L1:(m) Procedures for the mentor firm to terminate the mentor-protégé agreement for
 L0:cause which provide that?

L1:(1) The mentor firm must furnish the protégé firm a written notice of the
 L0:proposed termination, stating the specific reasons for such action, at least 30 days in
 L0:advance of the effective date of such proposed termination;
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19
 L0:Defense FAR Supplement (DFARS) Part 219

L1:(2) The protégé firm must have 30 days to respond to such notice of proposed
 L0:termination, and may rebut any findings believed to be erroneous and offer a remedial
 L0:program;

L1:(3) Upon prompt consideration of the protégé firm's response, the mentor firm
 L0:must either withdraw the notice of proposed termination and continue the protégé
 L0:firm's participation, or issue the notice of termination; and

L1:(4) The decision of the mentor firm regarding termination for cause, conforming
 L0:with the requirements of this section, will be final and is not reviewable by DoD;

L1:(n) Procedures for a protégé firm to notify the mentor firm in writing at least 30
 L0:days in advance of the protégé firm's intent to voluntarily terminate the mentor-protégé
 L0:agreement;

L1:(o) Additional terms and conditions as may be agreed upon by both parties; and

L1:(p) Signatures and dates for both parties to the mentor-protégé agreement.
 L0:I-108 Submission and approval of mentor-protégé agreements.

L1:(a) Upon solicitation or as determined by the cognizant military department or defense agency, mentors will submit?

L1:(1) A mentor application pursuant to I-105, if the mentor has not been previously approved to participate;

L1:(2) A signed mentor-protégé agreement pursuant to I-107;

L1:(3) A statement as to whether the mentor is seeking credit or reimbursement of costs incurred;

L1:(4) The estimated cost of the technical assistance to be provided, broken out per year;

L1:(5) A justification if program participation term is greater than 3 years (agreements may not exceed 5 years) (see I-107(k)); and

L1:(6) For reimbursable agreements, a specific justification for developmental costs in excess of \$1 million per year.

L1:(b) When seeking reimbursement of costs, the military department or defense agency may require additional information.

L1:(c) The mentor-protégé agreement must be approved by the Director, OSBP, of the military department or defense agency prior to incurring costs eligible for credit.

L1:(d) The military department or defense agency will execute a contract modification or a separate contract, if justified pursuant to I-103(b)(3), prior to the mentor's incurring costs eligible for reimbursement.

L1:(e) Credit agreements that are not associated with an existing DoD program and/or military department or defense agency will be submitted for approval to the Director, Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19 Defense FAR Supplement (DFARS) Part 219 OSBP, Defense Contract Management Agency (DCMA), via the mentor's cognizant administrative contracting officer.

L1:(f) A prospective mentor that has identified Program funds to be made available from a DoD program manager must provide the information in paragraph (a) of this section through the program manager to the Director, OSBP, of the military department or defense agency with a letter signed by the program manager indicating the amount of funding that has been identified for the developmental assistance program.

L0:I-109 Reimbursable agreements.

L0:The following provisions apply to all reimbursable mentor-protégé agreements including agreements that provide for both reimbursement and subcontracting credit:

L1:(a) Assistance provided in the form of progress payments to a protégé firm in excess of the customary progress payment rate for the firm will be reimbursed only if implemented in accordance with FAR 32.504(c).

L1:(b) Assistance provided in the form of advance payments will be reimbursed only if the payments have been provided to a protégé firm under subcontract terms and conditions similar to those in the clause at FAR 52.232-12, Advance Payments.

L0:Reimbursement of any advance payments will be made pursuant to the inclusion of the clause at DFARS 252.232-7005, Reimbursement of Subcontractor Advance Payments? DoD Mentor-Protégé Program, in appropriate contracts. In requesting reimbursement, the mentor firm agrees that the risk of any financial loss due to the failure or inability

L0:of a protégé firm to repay any unliquidated advance payments will be the sole
L0:responsibility of the mentor firm.

L1:(c) The primary forms of developmental assistance authorized for reimbursement
L0:under the Program are identified in I-106(d). On a case-by-case basis, Directors, OSBP,
L0:of the military departments or defense agencies at their discretion, may approve
L0:additional incidental expenses for reimbursement, provided these expenses do not
L0:exceed 10 percent of the total estimated cost of the agreement.

L1:(d) The total amount reimbursed to a mentor firm for costs of assistance furnished
L0:to a protégé firm in a fiscal year may not exceed \$1 million unless the Director, OSBP,
L0:of the military department or defense agency determines in writing that unusual
L0:circumstances justify reimbursement at a higher amount. Request for authority to
L0:reimburse in excess of \$1 million must detail the unusual circumstances and must be
L0:endorsed and submitted by the program manager to the Director, OSBP, of the military
L0:department or defense agency.

L1:(e) DoD may not reimburse any fee to the mentor firm for services provided to the
L0:protégé firm pursuant to I-106(d)(6) or for business development expenses incurred by
L0:the mentor firm under a contract awarded to the mentor firm while participating in a
L0:joint venture with the protégé firm.

L1:(f) Developmental assistance costs that are incurred pursuant to an approved
L0:reimbursable mentor-protégé agreement, and have been charged to, but not reimbursed
L0:through, a separate contract, or through a separately priced contract line item added to
L0:a DoD contract, will not be otherwise reimbursed, as either a direct or indirect cost,
L0:under any other DoD contract, irrespective of whether the costs have been recognized
L0:for credit against applicable subcontracting goals.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19
L0:Defense FAR Supplement (DFARS) Part 219

L0:I-110 Credit agreements.

L0:Sections I-110.1 and I-110.2 apply to all credit agreements, including agreements that
L0:provide for both credit and reimbursement.

L0:I-110.1 Program provisions applicable to credit agreements.

L1:(a) Developmental assistance costs incurred by a mentor firm for providing
L0:assistance to a protégé firm pursuant to an approved credit mentor-protégé agreement
L0:may be credited as if the costs were incurred under a subcontract award to that protégé,
L0:for the purpose of determining the performance of the mentor firm in attaining an
L0:applicable subcontracting goal established under any contract containing a
L0:subcontracting plan pursuant to the clause at FAR 52.219-9, Small Business
L0:Subcontracting Plan, or the provisions of the DoD Test Program for Negotiation of
L0:Comprehensive Small Business Subcontracting Plans. Unreimbursed developmental
L0:assistance costs incurred for a protégé firm that is an eligible entity employing severely
L0:disabled individuals may be credited toward the mentor firm's small disadvantaged
L0:business subcontracting goal, even if the protégé firm is not a small disadvantaged
L0:business concern.

L1:(b) Costs that have been reimbursed through inclusion in indirect expense pools
L0:may also be credited as subcontract awards for determining the performance of the
L0:mentor firm in attaining an applicable subcontracting goal established under any

L0:contract containing a subcontracting plan. However, costs that have not been
L0:reimbursed because they are not reasonable, allocable, or allowable will not be
L0:recognized for crediting purposes.

L1:(c) Other costs that are not eligible for reimbursement pursuant to I-106(d) may be
L0:recognized for credit only if requested, identified, and incorporated in an approved
L0:mentor-protégé agreement.

L1:(d) The amount of credit a mentor firm may receive for any such unreimbursed
L0:developmental assistance costs must be equal to?

L1:(1) Four times the total amount of such costs attributable to assistance provided
L0:by small business development centers, historically Black colleges and universities,
L0:minority institutions, and procurement technical assistance centers.

L1:(2) Three times the total amount of such costs attributable to assistance
L0:furnished by the mentor's employees.

L1:(3) Two times the total amount of other such costs incurred by the mentor in
L0:carrying out the developmental assistance program.

L0:I-110.2 Credit adjustments.

L1:(a) Adjustments may be made to the amount of credit claimed if the Director, OSBP,
L0:OASD(IBP), determines that?

L1:(1) A mentor firm's performance in the attainment of its subcontracting goals
L0:through actual subcontract awards declined from the prior fiscal year without
L0:justifiable cause; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(2) Imposition of such a limitation on credit appears to be warranted to prevent
L0:abuse of this incentive for the mentor firm's participation in the Program.

L1:(b) The mentor firm must be afforded the opportunity to explain the decline in small
L0:business subcontract awards before imposition of any such limitation on credit. In
L0:making the final decision to impose a limitation on credit, the Director, OSBP,
L0:OASD(IBP), must consider?

L1:(1) The mentor firm's overall small business participation rates (in terms of
L0:percentages of subcontract awards and dollars awarded) as compared to the
L0:participation rates existing during the 2 fiscal years prior to the firm's admission to the
L0:Program;

L1:(2) The mentor firm's aggregate prime contract awards during the prior 2 fiscal
L0:years and the total amount of subcontract awards under such contracts; and

L1:(3) Such other information the mentor firm may wish to submit.

L1:(c) The decision of the Director, OSBP, OASD(IBP), regarding the imposition of a
L0:limitation on credit will be final.

L0:I-111 Agreement terminations.

L1:(a) Mentors and/or protégés must send a copy of any termination notices to the
L0:Director, OSBP, OASD(IBP) or the Director, OSBP, of the cognizant military
L0:department or defense agency that approved the agreement, and the DCMA small
L0:business professional responsible for conducting the annual review pursuant to I-113.

L1:(b) For reimbursable agreements, mentors must also send copies of any termination
L0:to the program manager and to the contracting officer.

L1:(c) Termination of a mentor-protégé agreement will not impair the obligations of the
L0:mentor firm to perform pursuant to its contractual obligations under Government
L0:contracts and subcontracts.

L1:(d) Termination of all or part of the mentor-protégé agreement will not impair the
L0:obligations of the protégé firm to perform pursuant to its contractual obligations under
L0:any contract awarded to the protégé firm by the mentor firm.

L1:(e) Mentors and protégés will follow provisions of the mentor-protégé agreement
L0:developed in compliance with I-107(l) through (n).

L1:(f) The Director, OSBP, OASD(IBP) or the Director, OSBP, of the military
L0:department or defense agency is authorized to terminate the mentor-protégé agreement
L0:for the convenience of the Government (to include national security grounds, funding
L0:limits, statutory requirements, or other considerations), as well as for cause upon
L0:written findings (e.g., either of the participants? failure to perform or provide adequate
L0:assurance of performance; failure to comply with laws, regulations, and policies;
L0:conflicts of interest; or default under any provisions of a DoD contract or agreement).
L0:I-112 Reporting requirements.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19
L0:Defense FAR Supplement (DFARS) Part 219
L0:I-112.1 Reporting requirements applicable to Individual Subcontract Reports
L1:(ISR), Summary Subcontract Reports (SSR) and Standard Forms 294.

L1:(a) Amounts credited toward applicable subcontracting goal(s) for unreimbursed
L0:costs under the Program must be separately identified on the appropriate ISR, SSR or
L0:SF 294 reports from the amounts credited toward the goal(s) resulting from the award
L0:of actual subcontracts to protégé firms. The combination of the two must equal the
L0:mentor firm's overall accomplishment toward the applicable goal(s).

L1:(b) A mentor firm may receive credit toward the attainment of an applicable
L0:subcontracting goal for each subcontract awarded by the mentor firm to an entity that
L0:qualifies as a protégé firm pursuant to I-102(b).

L0:I-112.2 Program specific reporting requirements.

L1:(a) Mentors must report on the progress made under active mentor-protégé
L0:agreements semiannually for the periods ending March 31st and September 30th
L0:throughout the Program participation term of the agreement. The September 30th
L0:report must address the entire fiscal year.

L1:(1) Reports are due 30 days after the close of each reporting period.

L1:(2) Each report must include the following data on performance under the
L0:mentor-protégé agreement:

L1:(i) Dollars obligated (for reimbursable agreements).

L1:(ii) Expenditures.

L1:(iii) Dollars credited, if any, toward applicable subcontracting goals as a
L0:result of developmental assistance provided to the protégé and a copy of the ISR or SF
L0:294 and/or SSR for each contract where developmental assistance was credited.

L1:(iv) Any new awards of subcontracts on a competitive or noncompetitive
L0:basis to the protégé firm under DoD contracts or other contracts, including the value of
L0:such subcontracts.

L1:(v) All technical or management assistance provided by mentor firm

L0:personnel for the purposes described in I-106(d).

L1:(vi) Any extensions, increases in the scope of work, or additional payments

L0:not previously reported for prior awards of subcontracts on a competitive or

L0:noncompetitive basis to the protégé firm under DoD contracts or other contracts,

L0:including the value of such subcontracts.

L1:(vii) The amount of any payment of progress payments or advance

L0:payments made to the protégé firm for performance under any subcontract made under

L0:the Program.

L1:(viii) Any loans made by the mentor firm to the protégé firm.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L1:(ix) All Federal contracts awarded to the mentor firm and the protégé firm

L0:as a joint venture, designating whether the award was a restricted competition or a full

L0:and open competition.

L1:(x) Any assistance obtained by the mentor firm for the protégé firm from the

L0:entities listed at I-106(d)(6).

L1:(xi) Whether there have been any changes to the terms of the mentor-

L0:protégé agreement.

L1:(xii) A narrative describing the following:

L0:had in addressing the developmental needs of the protégé firm.

L1:(A) The success developmental assistance provided under I-106(d) has

L0:transition of innovative technology into a program of record.

L1:(B) The impact on DoD contracts, including but not limited to the

L1:(C) Any problems encountered.

L0:program.

L1:(D) Any milestones achieved in the protégé firm's developmental

L0:certifications received, and technology transferred.

L1:(E) Impact of the agreement in terms of capabilities enhanced,

L1:(3) A recommended reporting format and guidance for its submission are

L0:available at [https://business.defense.gov/Programs/Mentor-Protégé-Program/MPP-](https://business.defense.gov/Programs/Mentor-Protégé-Program/MPP-Resources/)

L0:Resources/.

L1:(b) The protégé must provide data, annually by October 31st, on the progress made

L0:during the prior fiscal year by the protégé in employment, revenues, and participation

L0:in DoD contracts during?

L1:(1) Each fiscal year of the Program participation term; and

L1:(2) Each of the 5 fiscal years following the expiration of the Program

L0:participation term.

L1:(c) The protégé report required by paragraph (b) of this section may be provided as

L0:part of the mentor report for the period ending September 30th required by paragraph

L1:(a) of this section.

L1:(d) Progress reports must be submitted?

L1:(1) For credit agreements, to the Director, OSBP, of the military department or

L0:defense agency that approved the agreement, and the mentor's cognizant DCMA

L0:administrative contracting officer; and

L1:(2) For reimbursable agreements, to the Director, OSBP, of the military

L0:department or defense agency, the contracting officer, the DCMA administrative

L0:contracting officer, and the program manager.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 19

L0:Defense FAR Supplement (DFARS) Part 219

L0:I-113 Performance reviews.

L0:DCMA will conduct annual performance reviews of the progress and accomplishments

L0:realized under approved mentor-protégé agreements. These reviews must verify data

L0:provided on the semiannual reports and must provide information as to?

L1:(a) Whether all costs reimbursed to the mentor firm under the agreement were

L0:reasonably incurred to furnish assistance to the protégé in accordance with the mentor-

L0:protégé agreement and applicable regulations and procedures; and

L1:(b) Whether the mentor and protégé accurately reported progress made by the

L0:protégé in employment, revenues, and participation in DoD contracts during the

L0:Program participation term and for 5 fiscal years following the expiration of the

L0:Program participation term.

PART 22

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

222.101-1 Labor relations

Status: active

L0:222.101-1 Labor relations.

L0:Follow the procedures at PGI 222.101-1 for referral of labor relations matters to the
L0:appropriate authorities.

222.101-170 Department of Labor regulations

Status: active

L0:222.101-170 Department of Labor regulations.

L0:Direct all questions regarding Department of Labor regulations to the labor advisor.

222.104 Postaward

Status: active

L0:222.104 Postaward.

222.104-1 General

Status: active

L0:222.104-1 General.

L1:(c) Follow the procedures at PGI 222.104-1 for reporting labor disputes.

222.104-170 Impact of labor disputes on defense programs

Status: active

L0:222.104-170 Impact of labor disputes on defense programs.

L1:(a) Each department and agency must determine the degree of impact of potential
L0:or actual labor disputes on its own programs and requirements. For guidance on
L0:determining the degree of impact, see PGI 222.104-170.

L1:(b) Each contracting activity must obtain and develop data reflecting the impact of a
L0:labor dispute on its requirements and programs. Upon determining that the impact of
L0:the labor dispute is significant, the head of the contracting activity must submit a

L0:report of findings and recommendations to the labor advisor in accordance with
L0:departmental procedures.

222.104-171 Removal of items from contractors' facilities affected by work

Status: active

L0:222.104-171 Removal of items from contractors' facilities affected by work
L0:stoppages.
L0:Follow the procedures at PGI 222.104-171 when a work stoppage prevents the delivery
L0:of urgent and critical items.

222.104-172 Acquisition of stevedoring services during labor disputes

Status: active

L0:222.104-172 Acquisition of stevedoring services during labor disputes.
L0:Follow the procedures at PGI 222.104-172 when a labor dispute delays the performance
L0:of urgently needed stevedoring services.

222.104-2 Overtime approvals

Status: active

L0:222.104-2 Overtime approvals.
L1:(a) The department/agency approving official must?
L1:(i) Obtain the concurrence of other appropriate approving officials; and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22
L0:Defense FAR Supplement (DFARS) Part 222
L1:(ii) Seek agreement as to the contracts under which overtime premiums will be
L0:approved when?
L1:(A) Two or more contracting offices have current contracts at the same
L0:contractor facility; and
L1:(B) The approval of overtime by one contracting office will affect the
L0:performance or cost of contracts of another office. In the absence of evidence to the
L0:contrary, a contracting officer may rely on a contractor's statement that approval of
L0:overtime premium pay for one contract will not affect performance or payments under
L0:any other contract.

222.302 Postaward

Status: active

L0:222.302 Postaward.
L0:Upon receipt of notification of Contract Work Hours and Safety Standards violations?
L1:(1) Immediately withhold any available funds;

L1:(2) Give the contractor written notification of the withholding and a statement
L0:of the basis for the liquidated damages assessment. The written notification must also
L0:inform the contractor of the right to appeal the assessment within 60 days, through the
L0:contracting officer, to the agency official responsible for acting on such appeals; and
L1:(3) If funds available for withholding are insufficient to cover liquidated
L0:damages, ask the contractor to pay voluntarily the funds necessary to cover the total
L0:liquidated damage assessment.

L2:(d)(i) The assessment must become the final administrative determination of
L0:contractor liability for liquidated damages when?

L1:(A) The contractor fails to appeal to the contracting agency within 60 days
L0:from the date of the withholding of funds;

L1:(B) The agency, following the contractor's appeals, either issues a final order
L0:affirming the assessment of liquidated damages or waives damages of \$500 or less; or

L1:(C) The Secretary of Labor takes final action on a recommendation of the
L0:agency head to waive or adjust liquidated damages in excess of \$500.

L1:(ii) Upon final administrative determination of the contractor's liability for
L0:liquidated damages, transmit withheld or collected funds owed the Government as
L0:liquidated damages to the servicing finance and accounting officer for crediting to the
L0:appropriate Government Treasury account. Return any excess withheld funds to the
L0:contractor.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22
L0:Defense FAR Supplement (DFARS) Part 222

222.402 Presolicitation

Status: active

L0:222.402 Presolicitation.

222.402-1 Applicability

Status: active

L0:222.402-1 Applicability.

222.402-170 Installation support contracts

Status: active

L0:222.402-170 Installation support contracts.

L1:(a) Apply both the Service Contract Labor Standards statute and the Construction
L0:Wage Rate Requirements statute to installation support contracts if?

L1:(1) The contract is principally for services but also requires a substantial and
L0:segregable amount of construction, alteration, renovation, painting, or repair work; and

L1:(2) The aggregate dollar value of such construction work exceeds or is expected
L0:to exceed \$2,000.

L1:(b) Service Contract Labor Standards statute coverage under the contract. Contract
L0:installation support requirements, such as plant operation and installation services (i.e.,
L0:custodial, snow removal, etc.) are subject to the Service Contract Labor Standards.
L0:Apply Service Contract Labor Standards clauses and minimum wage and fringe benefit
L0:requirements to all contract service calls or orders for such maintenance and support
L0:work.

L1:(c) Construction Wage Rate Requirements statute coverage under the contract.
L0:Contract construction, alteration, renovation, painting, and repair requirements (i.e.,
L0:roof shingling, building structural repair, paving repairs, etc.) are subject to the
L0:Construction Wage Rate Requirements statute. Apply Construction Wage Rate
L0:Requirements clauses and minimum wage requirements to all contract service calls or
L0:orders for construction, alteration, renovation, painting, or repairs to buildings or other
L0:works.

L1:(d) Repairs versus maintenance. Some contract work may be characterized as either
L0:Construction Wage Rate Requirements painting/repairs or Service Contract Labor
L0:Standards maintenance. For example, replacing broken windows, spot painting, or
L0:minor patching of a wall could be covered by either the Construction Wage Rate
L0:Requirements or the Service Contract Labor Standards. In instances where a contract
L0:service call or order requires construction trade skills (i.e., carpenter, plumber, painter,
L0:etc.), but uncertainty exists whether the work required is Service Contract Labor
L0:Standards maintenance or Construction Wage Rate Requirements painting/repairs,
L0:apply the following rules:

L1:(1) Consider individual service calls or orders requiring a total of 32 or more
L0:work hours to be repair work subject to the Construction Wage Rate Requirements.

L1:(2) Consider individual service calls or orders requiring fewer than 32 work
L0:hours to be maintenance subject to the Service Contract Labor Standards.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22
L0:Defense FAR Supplement (DFARS) Part 222

L1:(3) Consider painting work of 200 square feet or more, to be performed under an
L0:individual service call or order, subject to the Construction Wage Rate Requirements
L0:statute regardless of the total work hours required.

L1:(e) Where requirements are identifiable, make the determination of labor standards
L0:application when of drafting the solicitation. Otherwise, make the determination when
L0:placing the service call or order. The service call or order must identify the labor
L0:standards law and contract wage determination that applies to the work required.

L1:(f) Do not avoid application of the Construction Wage Rate Requirements statute by
L0:splitting individual tasks between orders or contracts.

222.402-3 Construction Wage Rate Requirements statute

Status: active

L0:222.402-3 Construction Wage Rate Requirements statute.

L1:(d) Follow the procedures at PGI 222.402-3(d) when seeking clarification of the
L0:proper application of construction wage rate schedules.

222.402-370 Reporting to the Department of Labor

Status: active

L0:222.402-370 Reporting to the Department of Labor.

L0:See PGI 222.402-370 for guidance on reporting requirements.

222.404 Postaward

Status: active

L0:222.404 Postaward.

222.404-1 Administration

Status: active

L0:222.404-1 Administration.

L2:(b)(1) Upon award of the contract, provide the prime contractor a preconstruction

L0:letter to describing the following, as appropriate?

L1:(i) Indicate that the labor standards requirements contained in the contract

L0:are based on the following statutes and regulations?

L1:(A) Construction Wage Rate Requirements statute.

L1:(B) Contract Work Hours and Safety Standards statute;

L1:(C) Copeland (Anti-Kickback) Act;

L0:subtitle A, title 29, CFR);

L1:(D) Parts 3 and 5 of the Secretary of Labor's Regulations (parts 3 and 5,

L1:(ii) Call attention to the labor standards requirements in the contract,

L0:which relate to?

L1:(A) Employment of foremen, laborers, mechanics, and others;

L1:(B) Wages and fringe benefits payments, payrolls, and statements;

L1:(C) Differentiation between subcontractors and suppliers;

L1:(D) Additional classifications;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

L0:complete work records;

L1:(E) Benefits to be realized by contractors and subcontractors in keeping

L0:provisions; and

L1:(F) Penalties and sanctions for violations of the labor standards

L1:(G) The applicable provisions of FAR 22.402; and

L1:(iii) Ensure that the contractor sends a copy of the preconstruction letter to

L0:each subcontractor.

L1:(2) Before construction begins, discuss the labor standards obligations under

L0:the contract with the prime contractor, and any subcontractor the prime designated,

L0:when?

L1:(A) The prime contractor has not performed previous Government contracts;

L1:(B) The prime contractor experienced difficulty in complying with labor

L0:standards requirements on previous contracts; or
L1:(C) Uncertainty exists whether the contractor and its subcontractors intend
L0:either to pay any required fringe benefits in the manner specified in the wage
L0:determination or to elect a different method of payment. If the latter, inform the
L0:contractor of the requirements of FAR 22.404-1.

222.404-2 Enforcement

Status: active

L0:222.404-2 Enforcement.

L1:(a) Policy. The proposed construction program must also include?

L1:(i) Training appropriate contract administration, labor relations, inspection,
L0:and other labor standards enforcement personnel in their responsibilities; and
L1:(ii) Periodic review of field enforcement activities to ensure compliance with
L0:applicable regulations and instructions.

L1:(c) Investigations.

L1:(1) Contracting Agency investigations. Before beginning an investigation, the
L0:investigator must inform the contractor of the general scope of the investigation, and
L0:that the investigation will include examining pertinent records and interviewing
L0:employees. In conducting the investigation, follow the procedures at PGI 222.404-2(c).

L2:(vi)(A) Notify the contractor by certified mail of any finding that it is liable
L0:for liquidated damages under the Contract Work Hours and Safety Standards
L1:(CWHSS) statute. The notification must inform the contractor that?
L0:assessment of liquidated damages; and
L1:(1) It has 60 days after receipt of the notice to appeal the
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22
L0:Defense FAR Supplement (DFARS) Part 222

L1:(2) The appeal must demonstrate either that the alleged violations
L0:did not occur at all, occurred inadvertently notwithstanding the exercise of due care, or
L0:the assessment was computed improperly.
L0:agency regulations.

L2:(C)(1) Upon receiving an appeal, process the appeal in accordance with
L2:(vii)(A) Forward a detailed enforcement report or summary report to the
L0:agency head in accordance with agency procedures. Include in the report, as a
L0:minimum, the information specified at PGI 222.404-2(d).

L1:(d) Report. Forward these reports through the head of the contracting activity to
L0:the labor advisor within 15 days following the end of the reporting period. These
L0:reports must not include information from investigations conducted by the Department
L0:of Labor. These reports must contain the following information, as applicable, for
L0:construction work subject to the Construction Wage Rate Requirements statute and the
L0:CWSS statute?

L1:(i) Period covered;
L1:(ii) Number of prime contracts awarded;
L1:(iii) Total dollar amount of prime contracts awarded;

L1:(iv) Number of contractors/subcontractors against whom complaints were
L0:received;

L1:(v) Number of investigations conducted;

L1:(vi) Number of contractors/subcontractors found in violation;

L1:(vii) Amount of wage restitution found due under?

L1:(A) Construction Wage Rate Requirements statute; and
L1:(B) CWSS statute;

L1:(vii) Number of employees due wage restitution under?

L1:(A) Construction Wage Rate Requirements statute; and
L1:(B) CWHSS statute;

L1:(ix) Amount of liquidated damages assessed under the CWSS statute?

L1:(i) Total amount; and
L1:(ii) Number of contracts involved;

L1:(x) Number of employees and amount paid/withheld under?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22
L0:Defense FAR Supplement (DFARS) Part 222

L1:(A) Construction Wage Rate Requirements statute;
L1:(B) CWSS statute;
L1:(C) Copeland Act; and
L1:(xi) Regarding preconstruction activities?

L1:(A) Number of compliance checks performed; and
L1:(B) Preconstruction letters sent.

L1:(e) Withholding payments

L1:(1) Contact the labor advisor for assistance when payments due a contractor are
L0:not available to satisfy that contractor's liability for Construction Wage Rate
L0:Requirements or CWHSS statute wage underpayments or liquidated damages.

L1:(g) Disposition of contract payments withheld or suspended. When disposition of
L0:withheld funds remains the final action necessary to close out a contract, the
L0:Department of Labor will retain withheld funds pending completion of an investigation
L0:or other administrative proceedings.

L1:(3) Liquidated damages.

L1:(A) The agency head may either adjust liquidated damages of \$500 or less
L0:when the amount assessed is incorrect or waive the assessment when the violations?

L1:(1) Were nonwillful or inadvertent; and
L0:its subcontractor, or their agents.

L1:(2) Occurred notwithstanding the exercise of due care by the contractor,
L1:(B) The agency head may recommend to the Administrator, Wage and Hour
L0:Division, that the liquidated damages over \$500 be adjusted when the amount assessed
L0:is incorrect. The agency head may also recommend waiving the assessment when the
L0:violations?

L1:(1) Were nonwillful or inadvertent; and
L0:the subcontractor, or their agents.

L1:(2) Occurred notwithstanding the exercise of due care by the contractor,

222.601 Presolicitation

Status: active

L0:222.601 Presolicitation.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

222.601-3 Exemptions

Status: active

L0:222.601-3 Exemptions.

L1:(c) Submit all applications for such exemptions through contracting channels to the

L0:labor advisor.

222.1002 Presolicitation

Status: active

L0:222.1002 Presolicitation

222.1002-1 Applicability

Status: active

L0:222.1002-1 Applicability.

L1:(b) For contracts having a substantial amount of construction, alteration,

L0:renovation, painting, or repair work, see 222.402-170.

222.1002-3 Wage determinations

Status: active

L0:222.1002-3 Wage determinations.

L0:Follow the procedures at PGI 222.1002-3 regarding use of the Service Contract Act

L0:Directory of Occupations when preparing the e98.

222.1302 Presolitation

Status: active

L0:222.1302 Presolitation

222.1302-2 Solicitation provision and contract clauses

Status: active

L0:222.1302-2 Solicitation provision and contract clauses.

L2:(a)(1) Insert the clause at FAR 52.222-35, Equal Opportunity for Veterans, with its
L0:paragraph (c), Listing Openings, also satisfies the requirement of 10 U.S.C. 4704.

222.1302-3 Waivers

Status: active

L0:222.1302-3 Waivers.

L1:(c) Follow the procedures at PGI 222.1302-3(c) for submission of waiver requests.

222.1304 Postaward

Status: active

L0:222.1304 Postaward.

L2:(c)(1) Forward each complaint received as indicated in FAR 22.1304(c) and (d); and

L1:(2) Notify the complainant of the referral. The contractor in question must not

L0:be informed in any manner or for any reason of the complainant's name, the nature of

L0:the complaint, or the fact that the complaint was received.

222.1401 Presolicitation

Status: active

L0:222.1401 Presolicitation.

222.1401-3 Waivers

Status: active

L0:222.1401-3 Waivers.

L1:(c) Submit a waiver request through contracting channels to the labor advisor. If

L0:the request is justified, the labor advisor will endorse the request and forward it for

L0:action to?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

L1:(i) The agency head for waivers under FAR 22.1403(a). For the defense

L0:agencies, waivers must be approved by the Assistant Secretary of Defense for

L0:Acquisition.

L1:(ii) The Secretary of Defense, without the power of redelegation, for waivers

L0:under FAR 22.1403(b).

222.1402 Postaward

Status: active

L0:222.1402 Postaward

L2:(c)(1) Notify the complainant of such referral. The contractor in question must not
L0:be informed in any manner or for any reason of the complainant's name, the nature of
L0:the complaint, or the fact that the complaint was received.

222.1703 Presolicitation

Status: active

L0:222.1703 Presolicitation

222.1703-1 Requirements

Status: active

L0:222.1703-1 Requirements.
L1:(a) See PGI 222.1703-1 for additional information regarding DoD policy for
L0:combating trafficking in persons outside the United States.

22.1704 Postaward

Status: active

L0:22.1704 Postaward.
L0:222.1704(a) Violations.
L0:Follow the procedures at PGI 222.1704(a) for notifying the Combatant Commander if a
L0:violation occurs.

222.1770 Procedures

Status: active

L0:222.1770 Procedures.
L0:For a sample checklist for auditing compliance with Combating Trafficking in Persons
L0:policy, see PGI 222.17.

222.7000 Scope of subpart

Status: active

L0:222.7000 Scope of subpart.
L1:(a) This subpart implements Section 8071 of the Fiscal Year 2000 Defense
L0:Appropriations Act, Public Law 106-79, and similar sections in subsequent Defense
L0:Appropriations Acts.
L1:(b) This subpart applies only?
L1:(1) To construction and service contracts to be performed in whole or in part
L0:within a noncontiguous State; and
L1:(2) When the unemployment rate in the noncontiguous State exceeds the

L0:national average rate of unemployment as determined by the Secretary of Labor.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

222.7001 Definition

Status: active

L0:222.7001 Definition.

L0:As used in this subpart?

L0:Noncontiguous State means Alaska, Hawaii, Puerto Rico, the Northern Mariana

L0:Islands, American Samoa, Guam, the U.S. Virgin Islands, Baker Island, Howland

L0:Island, Jarvis Island, Johnston Atoll, Kingman Reef, Midway Islands, Navassa Island,

L0:Palmyra Atoll, and Wake Island.

222.7002 General

Status: active

L0:222.7002 General.

L0:A contractor awarded a contract subject to this subpart must employ, for the purpose of

L0:performing that portion of the contract work within the noncontiguous State,

L0:individuals who are residents of that noncontiguous State and who, in the case of any

L0:craft or trade, possess or would be able to acquire promptly the necessary skills to

L0:perform this contract.

222.7003 Waivers

Status: active

L0:222.7003 Waivers.

L0:The head of the agency may waive the requirements of 222.7002 on a case-by-case basis

L0:in the interest of national security.

222.7004 Contract clause

Status: active

L0:222.7004 Contract clause.

L0:Insert the clause at 252.222-7000, Restrictions on Employment of Personnel, in all

L0:solicitations and contracts subject to this subpart. Insert the name of the appropriate

L0:noncontiguous State in paragraph (a) of the clause.

L0:SUBPART 222.71 [RESERVED]

222.7201 Contract clauses

Status: active

L0:222.7201 Contract clauses.

L1:(a) Insert the clause at 252.222-7002, Compliance with Local Labor Laws

L1:(Overseas), in solicitations and contracts for services or construction to be performed
L0:outside the United States and its outlying areas.

L1:(b) Insert the clause at 252.222-7003, Permit from Italian Inspectorate of Labor, in
L0:solicitations and contracts for porter, janitorial, or ordinary facility and equipment
L0:maintenance services to be performed in Italy.

L1:(c) Insert the clause at 252.222-7004, Compliance with Spanish Social Security

L0:Laws and Regulations, in solicitations and contracts for services or construction to be
L0:performed in Spain.

222.7300 Scope of subpart

Status: active

L0:222.7300 Scope of subpart.

L0:This subpart?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

L1:(a) Implements Section 390 of the National Defense Authorization Act for Fiscal

L0:Year 1998 (Pub. L. 105-85); and

L1:(b) Applies to contracts for base operations support on Guam that?

L1:(1) Are awarded upon a competition conducted under OMB Circular A-76; and

L1:(2) Are entered into or modified on or after November 18, 1997.

222.7301 Prohibition on use of nonimmigrant aliens

Status: active

L0:222.7301 Prohibition on use of nonimmigrant aliens.

L1:(a) An alien who is issued a visa or otherwise provided nonimmigrant status under

L0:Section 101(a)(15)(H)(ii) of the Immigration and Nationality Act (8 U.S.C.

L0:1101(a)(15)(H)(ii)) is prohibited from performing work under a contract for base

L0:operations support on Guam.

L1:(b) Lawfully admitted citizens of the freely associated states of the Republic of the

L0:Marshall Islands, the Federated States of Micronesia, or the Republic of Palau are not

L0:subject to the prohibition in paragraph (a) of this section.

222.7302 Contract clause

Status: active

L0:222.7302 Contract clause.

L0:Insert the clause at 252.222-7005, Prohibition on Use of Nonimmigrant Aliens?Guam,

L0:in solicitations and contracts subject to this subpart.

222.7400 Scope of subpart

Status: active

L0:222.7400 Scope of subpart.

L0:This subpart implements section 8116 of the Defense Appropriations Act for Fiscal Year

L0:2010 (Pub. L. 111-118) and similar sections in subsequent DoD appropriations acts.

222.7401 Definition

Status: active

L0:222.7401 Definition.

L0:As used in this subpart?

L0:Covered subcontractor, means any entity that has a subcontract valued in excess of \$1

L0:million, except a subcontract for the acquisition of commercial products or commercial

L0:services, including commercially available off-the-shelf items.

222.7402 Policy

Status: active

L0:222.7402 Policy.

L1:(a) Do not use funds appropriated or otherwise made available by the Fiscal Year

L0:2010 Defense Appropriations Act (Pub. L. 111-118) or subsequent DoD appropriations

L0:acts for any contract (including task or delivery orders and bilateral modifications

L0:adding new work) in excess of \$1 million, unless the contractor agrees not to?

L1:(1) Enter into any agreement with any of its employees or independent

L0:contractors that requires, as a condition of employment, that the employee or

L0:independent contractor agree to resolve through arbitration?

L1:(i) Any claim under title VII of the Civil Rights Act of 1964; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

L1:(ii) Any tort related to or arising out of sexual assault or harassment,

L0:including assault and battery, intentional infliction of emotional distress, false

L0:imprisonment, or negligent hiring, supervision, or retention; or

L1:(2) Take any action to enforce any provision of an existing agreement with an

L0:employee or independent contractor that mandates that the employee or independent

L0:contractor resolve through arbitration?

L1:(i) Any claim under title VII of the Civil Rights Act of 1964; or

L1:(ii) Any tort related to or arising out of sexual assault or harassment,

L0:including assault and battery, intentional infliction of emotional distress, false

L0:imprisonment, or negligent hiring, supervision, or retention.

L1:(b) No funds appropriated or otherwise made available by the Fiscal Year 2010

L0:Defense Appropriations Act (Pub. L. 111-118) or subsequent DoD appropriations acts

L0:may be expended unless the contractor certifies that it requires each covered

L0:subcontractor to agree not to enter into, and not to take any action to enforce, any

L0:provision of any agreement, as described in paragraph (a) of this section, with respect to
L0:any employee or independent contractor performing work related to such subcontract.

222.7403 Applicability

Status: active

L0:222.7403 Applicability.

L0:This requirement does not apply to the acquisition of commercial products or

L0:commercial services (including commercially available off-the-shelf items).

222.7404 Waiver

Status: active

L0:222.7404 Waiver.

L1:(a) The Secretary of Defense may waive, in accordance with paragraphs (b) through

L1:(d) of this section, the applicability of paragraphs (a) or (b) of 222.7402 to a particular

L0:contract or subcontract, if the Secretary or the Deputy Secretary personally determines

L0:that the waiver is necessary to avoid harm to national security interests of the United

L0:States, and that the term of the contract or subcontract is no longer than necessary to

L0:avoid such harm.

L1:(b) The waiver determination must specify the grounds for the waiver, alternatives

L0:considered, and an explanation why each of the alternatives would not avoid harm to

L0:national security interests.

L1:(c) Submit requests for waivers in accordance with agency procedures and PGI

L0:222.7404(c).

L1:(d) The Secretary of Defense will transmit the determination to Congress and

L0:simultaneously publish it in the Federal Register, not less than 15 business days before

L0:the contract or subcontract addressed in the determination may be awarded.

222.7405 Contract clause

Status: active

L0:222.7405 Contract clause.

L0:Insert the clause at 252.222-7006, Restrictions on the Use of Mandatory Arbitration

L0:Agreements, in all solicitations and contracts (including task orders or delivery orders

L0:and bilateral modifications adding new work) valued in excess of \$1 million utilizing

L0:funds appropriated or otherwise made available by the Defense Appropriations Act for

L0:Fiscal Year 2010 (Pub. L. 111-118) or subsequent DoD appropriations acts, except in

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

L0:contracts for the acquisition of commercial products, including commercially available

L0:off-the-shelf items, or commercial services.

252.222-7000 Restrictions on employment of personnel

Status: active

L0:252.222-7000 Restrictions on employment of personnel.

L0:As prescribed in 222.7004, use the following clause:

L0:RESTRICTIONS ON EMPLOYMENT OF PERSONNEL (MAR 2000)

L1:(a) The Contractor shall employ, for the purpose of performing that portion of the

L0:contract work in _____, individuals who are residents thereof and who, in the case of

L0:any craft or trade, possess or would be able to acquire promptly the necessary skills to

L0:perform the contract.

L1:(b) The Contractor shall insert the substance of this clause, including this paragraph

L1:(b), in each subcontract awarded under this contract.

L0:(End of clause)

252.222-7001 [Reserved]

Status: active

L0:252.222-7001 [Reserved]

252.222-7002 Compliance with local labor laws (overseas)

Status: active

L0:252.222-7002 Compliance with local labor laws (overseas).

L0:As prescribed in 222.7201(a), use the following clause:

L0:COMPLIANCE WITH LOCAL LABOR LAWS (OVERSEAS) (JUN 1997)

L1:(a) The Contractor shall comply with all?

L1:(1) Local laws, regulations, and labor union agreements governing work hours;

L0:and

L1:(2) Labor regulations including collective bargaining agreements, workers'

L0:compensation, working conditions, fringe benefits, and labor standards or labor contract

L0:matters.

L1:(b) The Contractor indemnifies and holds harmless the United States Government

L0:from all claims arising out of the requirements of this clause. This indemnity includes

L0:the Contractor's obligation to handle and settle, without cost to the United States

L0:Government, any claims or litigation concerning allegations that the Contractor or the

L0:United States Government, or both, have not fully complied with local labor laws or

L0:regulations relating to the performance of work required by this contract.

L1:(c) Notwithstanding paragraph (b) of this clause, consistent with paragraphs 31.205-

L0:15(a) and 31.205-47(d) of the Federal Acquisition Regulation, the Contractor will be

L0:reimbursed for the costs of all fines, penalties, and reasonable litigation expenses

L0:incurred as a result of compliance with specific contract terms and conditions or written

L0:instructions from the Contracting officer.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

252.222-7003 Permit from Italian Inspectorate of Labor

Status: active

L0:252.222-7003 Permit from Italian Inspectorate of Labor.

L0:As prescribed in 222.7201(b), use the following clause:

L0:(End of clause)

L0:PERMIT FROM ITALIAN INSPECTORATE OF LABOR (JUN 1997)

L0:Prior to the date set for commencement of work and services under this contract, the

L0:Contractor shall obtain the prescribed permit from the Inspectorate of Labor having

L0:jurisdiction over the work site, in accordance with Article 5g of Italian Law Number

L0:1369, dated October 23, 1960. The Contractor shall ensure that a copy of the permit is

L0:available at all reasonable times for inspection by the Contracting Officer or an

L0:authorized representative. Failure to obtain such permit may result in termination of

L0:the contract for the convenience of the United States Government, at no cost to the

L0:United States Government.

L0:(End of clause)

252.222-7004 Compliance with Spanish social security laws and regulations

Status: active

L0:252.222-7004 Compliance with Spanish social security laws and regulations.

L0:As prescribed in 222.7201(c), use the following clause:

L0:COMPLIANCE WITH SPANISH SOCIAL SECURITY LAWS AND REGULATIONS

L0:(JUN 1997)

L1:(a) The Contractor shall comply with all Spanish Government social security laws

L0:and regulations. Within 30 calendar days after the start of contract performance, the

L0:Contractor shall ensure that copies of the documents identified in paragraph (a)(1)

L0:through (a)(5) of this clause are available at all reasonable times for inspection by the

L0:Contracting Officer or an authorized representative. The Contractor shall retain the

L0:records in accordance with the Audit and Records clause of this contract.

L1:(1) TC1?Certificate of Social Security Payments;

L1:(2) TC2?List of Employees;

L1:(3) TC2/1?Certificate of Social Security Payments for Trainees;

L1:(4) Nominal (pay statements) signed by both the employee and the Contractor;

L0:and

L1:(5) Informa de Situacion de Empresa (Report of the Condition of the

L0:Enterprise) from the Ministerio de Trabajo y S.S., Tesoreria General de la Seguridad

L0:Social (annotated with the pertinent contract number(s) next to the employee's name).

L1:(b) All TC1's, TC2's, and TC2/1's shall contain a representation that they have been

L0:paid by either the Social Security Administration office or the Contractor's bank or

L0:savings institution. Failure by the Contractor to comply with the requirements of this

L0:clause may result in termination of the contract under the clause of the contract entitled

L0:?Default.?

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22
L0:Defense FAR Supplement (DFARS) Part 222

252.222-7005 Prohibition on use of nonimmigrant aliens?Guam

Status: active

L0:252.222-7005 Prohibition on use of nonimmigrant aliens?Guam.

L0:As prescribed in 222.7302, use the following clause:

L0:PROHIBITION ON USE OF NONIMMIGRANT ALIENS?GUAM (SEP 1999)

L0:The work required by this contract shall not be performed by any alien who is issued a
L0:visa or otherwise provided nonimmigrant status under Section 101(a)(15)(H)(ii) of the
L0:Immigration and Nationality Act (8 U.S.C. 1101(a)(15)(H)(ii)). This prohibition does not
L0:apply to the performance of work by lawfully admitted citizens of the freely associated
L0:states of the Republic of the Marshall Islands, the Federated States of Micronesia, or
L0:the Republic of Palau.

L0:(End of clause)

252.222-7006 Restrictions on the Use of Mandatory Arbitration Agreements

Status: active

L0:252.222-7006 Restrictions on the Use of Mandatory Arbitration Agreements.

L0:As prescribed in 222.7405, use the following clause:

L0:RESTRICTIONS ON THE USE OF MANDATORY ARBITRATION AGREEMENTS

L0:(JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Covered subcontractor means any entity that has a subcontract valued in excess of \$1
L0:million, except a subcontract for the acquisition of commercial products or commercial
L0:services, including commercially available off-the-shelf items.

L0:Subcontract means any contract, as defined in Federal Acquisition Regulation subpart
L0:2.1, to furnish supplies or services for performance of this contract or a higher-tier
L0:subcontract thereunder.

L1:(b) The Contractor?

L1:(1) Agrees not to?

L1:(i) Enter into any agreement with any of its employees or independent
L0:contractors that requires, as a condition of employment, that the employee or
L0:independent contractor agree to resolve through arbitration?

L1:(A) Any claim under title VII of the Civil Rights Act of 1964; or

L1:(B) Any tort related to or arising out of sexual assault or harassment,
L0:including assault and battery, intentional infliction of emotional distress, false
L0:imprisonment, or negligent hiring, supervision, or retention; or

L1:(ii) Take any action to enforce any provision of an existing agreement with
L0:an employee or independent contractor that mandates that the employee or
L0:independent contractor resolve through arbitration?

L1:(A) Any claim under title VII of the Civil Rights Act of 1964; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

L1:(B) Any tort related to or arising out of sexual assault or harassment,

L0:including assault and battery, intentional infliction of emotional distress, false

L0:imprisonment, or negligent hiring, supervision, or retention; and

L1:(2) Certifies, by signature of the contract, that it requires each covered

L0:subcontractor to agree not to enter into, and not to take any action to enforce, any

L0:provision of any existing agreements, as described in paragraph (b)(1) of this clause,

L0:with respect to any employee or independent contractor performing work related to

L0:such subcontract.

L1:(c) The prohibitions of this clause do not apply with respect to a contractor's or

L0:subcontractor's agreements with employees or independent contractors that may not be

L0:enforced in a court of the United States.

L1:(d) The Secretary of Defense may waive the applicability of the restrictions of

L0:paragraph (b) of this clause in accordance with Defense Federal Acquisition Regulation

L0:Supplement 222.7404.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

L0:PGI PART 222?APPLICATION OF LABOR LAWS TO GOVERNMENT ACQUISITIONS

L0:PGI 222.1?BASIC LABOR POLICIES

L0:PGI 222.101-1 Labor relations.

L0:Obtain approval from the labor advisor before?

L1:(1) Contacting a national office of a labor organization, a Government agency

L0:headquarters, or any other organization on labor relations matters or disputes; or

L1:(2) Making recommendations for plant seizure or injunctive action relating to potential or

L0:actual work stoppages.

L0:PGI 222.104 Postaward.

L0:PGI 222.104-1 General.

L0:The contract administration office must?

L1:(1) Notify the labor advisor, the contracting officer, and the head of the contracting

L0:activity when interference is likely; and

L1:(2) Disseminate information on labor disputes in accordance with departmental

L0:procedures.

L0:PGI 222.104-170 Impact of labor disputes on defense programs.

L1:(a) If the dispute involves a product, project (including construction), or service that must

L0:be obtained in order to meet schedules for urgently needed military programs or

L0:requirements, each department and agency must consider the degree of impact of potential

L0:or actual labor disputes, and each contracting activity involved must obtain and develop data

L0:reflecting the impact of a labor dispute. Upon determining the impact, the head of the

L0:contracting activity must submit a report of findings and recommendations to the labor

L0:advisor.

L2:(b)(i) The report to the labor advisor must be in narrative form and must include?

L1:(A) Location of dispute and name of contractor or subcontractor involved;
L1:(B) A description of the impact, including how the specific items or services
L0:affect the specific programs or requirements;
L1:(C) Identity of alternate sources available to furnish the supply or service within
L0:the time required; and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22
L0:Defense FAR Supplement (DFARS) Part 222
L1:(D) A description of any action taken to reduce the impact.
L1:(ii) The head of the contracting activity must submit impact reports to the agency
L0:head when?
L1:(A) Specifically requested; or
L1:(B) The department or agency considers the impact to be of sufficient urgency
L0:to warrant the attention of the agency head.
L1:(iii) The labor advisor will expand the report submitted under paragraph (b)(ii) of this
L0:subsection by addressing the following, as appropriate:
L1:(A) Description of military program, project, or service. Identify item, project, or
L0:service that will be or is being affected by the work stoppage. Describe its normal use and
L0:current functions in combat, combat support, or deterrent operations. For components or
L0:raw materials, identify the end item(s) for which they are used.
L1:(B) Requirements and assets. Identify requirements and assets in appropriate
L0:detail in terms commonly used by the DoD component.
L1:(1) For production programs, include requirements for each using military
L0:service. Where applicable, state in detail production schedule, inventory objectives, assets
L0:against these objectives, and critical shortages. For spares and highly expendable items,
L0:such as ground and air ammunition, show usage (consumption) rates and assets in
L0:absolute terms and in terms of daily, weekly, or monthly supplies. For components, include
L0:requirements for spares.
L1:(2) For projects, describe the potential adverse effects of a delay in meeting
L0:schedules, and its impact on the national security.
L1:(3) For services, describe how a loss or interruption affects the ability to
L0:support Defense operations in terms of traffic requirements, assets, testing programs, etc.
L1:(C) Possible measures to minimize strike impact. Describe?
L1:(1) Capabilities, if any, to substitute items or to use alternate sources and
L0:indicate the number of other facilities available and the relative capabilities of such facilities
L0:in meeting total requirements;
L0:service affected by a work stoppage; and
L1:(2) How much time would be required to replace the loss of the facilities or
L1:(3) The feasibility of transferring assets from theater to theater to relieve
L0:deficits in some areas of urgency.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22
L0:Defense FAR Supplement (DFARS) Part 222
L1:(D) Conclusion.
L0:work stoppage.
L1:(1) Describe the impact on operations of a 15-30, 30-60, and a 60-90 day
L1:(2) Estimate the degree of criticality of a program, project, or service

L0:resulting from a work stoppage on a calendar basis, indicating the increased impact, if any,
L0:as the stoppage lengthens. Criticality is measured by the number of days required for the
L0:work stoppage to have an effect on operational capability. This time must be stated in terms
L0:of days.

L0:PGI 222.104-171 Removal of items from contractors' facilities affected by work
L0:stoppages.

L1:(a) When a contractor is unable to deliver urgent and critical items because of a work
L0:stoppage at its facility, before removing any items from the facility?

L1:(i) Contact the labor advisor to obtain the opinion of the national office of the
L0:Federal Mediation and Conciliation Service or other mediation agency regarding the effect
L0:movement of the items would have on labor negotiations. Normally removals will not be
L0:made if they will adversely affect labor negotiations.

L1:(ii) Provide a written request for removal of the material to the cognizant contract
L0:administration office. The request should include the following information:

L1:(A) Contract number.

L1:(B) A statement as to the urgency and criticality of the item needed.

L1:(C) A description of the items to be moved (nature of the item, amount,
L0:approximate weight and cubic feet, item number, etc.).

L1:(D) Mode of transportation by which the items are to be moved, if different than
L0:in the contract, and whether by Government or commercial bill of lading.

L1:(E) Destination of the material, if different from that specified in the contract.

L1:(iii) With the assistance of the labor advisor or the contract administration office,
L0:attempt to have both the management and the labor representatives involved agree to
L0:shipment of the material by normal means.

L1:(iv) If agreement for removal of the needed items cannot be reached following the
L0:procedures in paragraphs (a) (i) through (iii) of this section, the commander of the contract
L0:administration office, after obtaining approval from the labor advisor, may seek the
L0:concurrence of the parties to the dispute to permit movement of the material by military
L0:vehicles with military personnel. On receipt of such concurrences, the commander may
L0:proceed to make necessary arrangements to move the material.

L1:(v) If agreement for removal of the needed items cannot be reached following any
L0:of the procedures in paragraphs (a) (i) through (iv) of this section, refer the matter to the
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22
L0:Defense FAR Supplement (DFARS) Part 222

L0:labor advisor with the information required by 222.104-170(b). If the labor advisor is
L0:unsuccessful in obtaining concurrence of the parties for the movement of the material and
L0:further action to obtain the material is necessary, refer the matter to the agency head. Upon
L0:review and verification that the items are urgently or critically needed and cannot be moved
L0:with the consent of the parties, the agency head, on a nondelegable basis, may order
L0:removal of the items from the facility.

L0:PGI 222.104-172 Acquisition of stevedoring services during labor disputes.

L1:(a) Use the following procedures only in the order listed when a labor dispute delays
L0:performance of a contract for stevedoring services that are urgently needed.

L1:(1) Attempt to have management and labor voluntarily agree to exempt military
L0:supplies from the labor dispute by continuing the movement of such material.

L1:(2) Divert vessels to alternate ports able to provide necessary stevedoring services.

L1:(3) Consider contracting with reliable alternative sources of supply within the
L0:stevedoring industry.

L1:(4) Utilize civil service stevedores to perform the work performed by contract
L0:stevedores.

L1:(5) Utilize military personnel to handle the cargo which was being handled by
L0:contract stevedores prior to the labor dispute.

L1:(b) Notify the labor advisor when a deviation from the procedures in paragraph (a) of this
L0:subsection is required.

L0:PGI 222.4?LABOR STANDARDS FOR CONTRACTS INVOLVING CONSTRUCTION

L0:PGI 222.402-3 Construction Wage Rate Requirements statute .

L1:(d) Obtain clarification concerning the proper application of wage rate schedules to the
L0:type or types of construction involved from?

L1:(i) For the Army - The appropriate district commander, Corps of Engineers.

L1:(ii) For the Navy - The cognizant Naval Facilities Engineering Command division.

L1:(iii) For the Air Force - The appropriate Regional Industrial Relations Office.

L0:PGI 222.402-370 Reporting to the Department of Labor.

L0:Not later than April 1 of each year, each agency must furnish the Administrator, Wage and

L0:Hour Division, with a general outline of its proposed construction program for the coming

L0:fiscal year. The Department of Labor uses this information to determine where it will conduct

L0:general wage determination surveys.

L1:(a) For individual projects of \$500,000 or more, the agency must indicate?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

L1:(1) The anticipated type of construction;

L1:(2) The estimated dollar value; and

L1:(3) The location in which the work is to be performed (city, town, village, county, or

L0:other civil subdivision of the state).

L1:(b) The report format is contained in Department of Labor All Agency Memo 144,

L0:December 27, 1985.

L1:(c) The report control number is 1671-DOL-AN.

L0:PGI 222.404 Postaward.

L0:PGI 222.404-2 Enforcement.

L1:(c) Investigations. (1) Under Reorganization Plan No. 14 of 1950, contracting agencies

L0:are tasked with the primary responsibility for the conduct of labor standards compliance

L0:activities for construction contracts subject to the Construction Wage Rate Requirements

L0:statute. When such compliance assurance activities disclose potential violations that are

L0:substantial in amount (wage underpayments in excess of \$1,000) or when requested by the

L0:Department of Labor, the contracting officer or a designee should take the following steps to

L0:ensure compliance with the investigative requirements of the Department of Labor:

L1:(i) Beginning of the investigation. The investigator must?

L1:(A) Inform the contractor of the investigation in advance;

L1:(B) Verify the exact legal name of the contractor, its address, and the names

L0:and titles of its principal officers;

L1:(C) Outline the general scope of the investigation, including the examination of

L0:pertinent records and the interview of employees;

L1:(D) Inform the contractor that the names of the employees to be interviewed will

L0:not be divulged to the contractor; and

L1:(E) When requested, provide a letter from the contracting officer verifying the

L0:investigator's authority.

L1:(ii) Conduct of the investigation. Labor standards investigations are comprised of

L0:the following essential components:

L1:(A) Review of the contract.

L0:determinations are included in the contract.

L1:(1) Verify that all required labor standards and clauses and wage

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

L1:(2) Review the following items in the contract file, if applicable:

L1:(i) List of subcontractors.

L1:(ii) Payroll statements for the contractor and subcontractors.

L1:(iii) Approvals of additional classifications.

L0:22.404-1(f)(1) and 22.404-1(f)(3)(i).

L1:(iv) Data regarding apprentices and trainees as required by FAR

L1:(v) Daily inspector's report or other inspection reports.

L1:(vi) Employee interview statements.

L1:(vii) Standard Form (SF) 1413, Statement and Acknowledgement.

L1:(B) Interview of the complainant. If the investigation is based upon the receipt

L0:of a complaint, the investigator should interview the complainant unless this is impractical.

L0:The interview must cover all aspects of the complaint to ensure that all pertinent information

L0:is obtained. Whenever an investigation does not include an interview of the complainant,

L0:explain such omission in the investigator's report.

L1:(C) Interview of employees and former employees.

L1:(1) Interview a sufficient number of employees or former employees, who

L0:represent all classifications, to develop information regarding the method and amount of

L0:payments, deductions, hours worked, and the type of work performed.

L1:(2) Interview employees at the job site if the interviews can be conducted

L0:privately and in such a manner so as to cause the least inconvenience to the employer and

L0:employees.

L1:(3) Former employees may be interviewed elsewhere.

L1:(4) Do not disclose to any employee any information, finding,

L0:recommendation, or conclusion relating to the investigation except to the extent necessary

L0:to obtain required information.

L1:(5) Do not disclose any employee's statement to anyone, except a

L0:Government representative working on the case, without the employee's written permission.

L1:(6) Obtain information by mail when personal interviews are impractical.

L1:(7) Use SF 1445, Labor Standards Interview, for employee interviews.

L1:(8) Ask employees to sign their statements and to initial any changes.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

L1:(9) Provide an evaluation of each employee's credibility.

L1:(D) Interview of foremen. Interview foremen to obtain information concerning
L0:the contractor's compliance with the labor standards provisions with respect to employees
L0:under the foreman's supervision and the correctness of the foreman's classification as a
L0:supervisory employee. All procedures established for the conduct of employee interviews,
L0:and the recording and use of information obtained, apply to foremen interviews.

L1:(E) Interview of the contractor.

L1:(1) Interview the contractor whenever the investigation indicates the
L0:possibility of a violation.

L1:(2) Inform the contractor that?
L0:a requirement for corrective action exists; and

L1:(i) The interview does not mean that a violation has been found or that
L0:contractor may desire to present in connection with the investigation.

L1:(ii) The purpose of the interview is to obtain only such data as the

L1:(3) Do not disclose the identity of any individual who filed a complaint or
L0:was interviewed.

L1:(F) Review of contractor and subcontractor records.

L1:(1) Review contractor and subcontractor records such as basic time cards,
L0:books, cancelled payroll checks, fringe benefits, and payment records. Compare them with
L0:submitted payrolls. When discrepancies are found, include pertinent excerpts or copies of
L0:the records in the investigation report with a statement of the discrepancy and any
L0:explanation the investigator obtains. When wages include contributions or anticipated costs
L0:for fringe payments requiring approval of the Secretary of Labor, examine the contractor
L0:records to ensure such approval has been obtained and that any requirements specified in
L0:the approval have been met.

L1:(2) Review contractor's and subcontractor's weekly payrolls and payroll
L0:statements for completeness and accuracy regarding the following:
L0:subcontractor, and payroll period.

L1:(i) Identification of employees, payroll amount, the contract, contractor,
L0:contract specifications, or otherwise established for the contract or subcontract.

L1:(ii) Inclusion of only job classifications and wage rates specified in the

L1:(iii) Computation of daily and weekly hours.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22
L0:Defense FAR Supplement (DFARS) Part 222
L0:per week in accordance with FAR 22.404-2(b).

L1:(iv) Computation of time-and-one half for work in excess of 40 hours

L1:(v) Gross weekly wages.

L1:(vi) Deductions.

L1:(vii) Computation of net weekly wages paid to each employee.

L1:(viii) Ratio of helpers, apprentices, and trainees to laborers and
L0:mechanics.

L1:(ix) Apprenticeship and trainee registration and ratios.

L1:(x) Computation of fringe benefits payments.

L1:(3) Transcribe the contractor's records whenever they contain information
L0:at variance with payrolls or other submitted documents.

L1:(i) Make the transcriptions in sufficient detail to permit them to be used

L0:to check computations of restitution and to determine amounts to be withheld from the
L0:contractor.

L1:(ii) Follow the form used by the contractor.

L0:separate memoranda or in the narrative report.

L1:(iii) Place comments or explanations concerning the transcriptions on

L0:the determination, and any additional classifications are posted as required.

L1:(iv) Determine whether the wage determination, any modifications of

L1:(iii) Submission of the report of investigation. The investigator must submit a report

L0:of the investigation in accordance with agency procedures. Each report must include at
L0:least?

L1:(A) The basis for the investigation, including the name of the complainant;

L1:(B) Names and addresses of prime contractors and subcontractors involved,

L0:and names and titles of their principal officers;

L1:(C) Contract number, date, dollar value of prime contract, and date and number

L0:of wage determination included in the contract;

L1:(D) Description of the contract and subcontract work involved;

L1:(E) Summary of the findings with respect to each of the items listed in PGI

L0:222.406-8(1)(ii);

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

L1:(F) Concluding statement concerning?

L1:(1) The types of violations, including the amount of kickbacks under the

L0:Copeland Act, underpayments of basic hourly rates and fringe benefits under the Wage

L0:Rate Requirements statute, or underpayments and liquidated damages under the Contract

L0:Work Hours and Safety Standards statute;

L1:(2) Whether violations are considered to be willful or due to the negligence

L0:of the contractor or its agent;

L1:(3) The amount of funds withheld from the contractor; and

L1:(4) Other violations found; and

L1:(G) Exhibits indexed and appropriately tabbed, including copies of the following,

L0:when applicable?

L1:(1) Complaint letter;

L1:(2) Contract wage determination;

L1:(3) Preconstruction letter and memorandum of preconstruction conference;

L1:(4) Payrolls and statements indicating violations;

L1:(5) Transcripts of pertinent records of the contractor, and approvals of fringe

L0:benefit payments;

L1:(6) Employee interview statements;

L1:(7) Foreman interview statements;

L1:(8) Statements of others interviewed, including Government personnel;

L0:liquidated damages;

L1:(9) Detailed computations showing kickbacks, underpayments, and

L1:(10) Summary of all payments due to each employee or to a fund plan or

L0:program, and liquidated damages; and

L1:(11) Receipts and cancelled checks.

L1:(d) This report must include at least--

L1:(i) SF 1446, Labor Standards Investigation Summary Sheet;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

L1:(ii) Contracting officer's findings;

L1:(iii) Statement as to the disposition of any contractor rebuttal to the findings;

L1:(iv) Statement as to whether the contractor has accepted the findings and has paid

L0:any restitution or liquidated damages;

L1:(v) Statement as to the disposition of funds available;

L1:(vi) Recommendations as to disposition or further handling of the case (when

L0:appropriate, include recommendations as to the reduction, waiver, or assessment of

L0:liquidated damages, whether the contractor should be debarred, and whether the file should

L0:be referred for possible criminal prosecution); and

L1:(vii) When applicable, the following exhibits:

L1:(A) Investigator's report.

L1:(B) Copy of the contractor's written rebuttal or a summary of the contractor's

L0:oral rebuttal of the contracting officer's findings.

L1:(C) Copies of correspondence between the contractor and contracting officer,

L0:including a statement of specific violations found, corrective action requested, and the

L0:contractor's letter of acceptance or rejection.

L1:(D) Evidence of the contractor's payment of restitution or liquidated damages

L0:(copies of receipts, cancelled checks, or supplemental payrolls).

L1:(E) Letter from the contractor requesting relief from the liquidated damage

L0:provisions of the Contract Work Hours and Safety Standards statute.

L1:(e) Withholding payments.

L1:(1) Contact the labor advisor for assistance when payments due a contractor are

L0:not available to satisfy that contractor's liability for Construction Wage Rate Requirements or

L0:CWHSS statute wage underpayments or liquidated damages.

L0:PGI 222.10?SERVICE CONTRACT LABOR STANDARDS

L0:PGI 222.1002-3 Obtaining wage determinations.

L1:(1) Secure the assistance of cognizant customer/technical personnel to ensure

L0:maximum use of the Service Contract Act Directory of Occupations (Directory) and

L0:incorporation of all service employee classes (Directory and non-Directory) expected to be

L0:utilized.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

L1:(2) When the statement of work job title, for which there is a Directory equivalent, differs

L0:from the Directory job title, provide a cross-reference on the e98.

L1:(3) Include and note as such any classifications and minimum hourly wage rates

L0:conformed under any predecessor contract. When a previously conformed classification is

L0:not included in the Directory, include the job description on the e98.

L0:PGI 222.13?EQUAL OPPORTUNITIES FOR VETERANS

L0:PGI 222.1302 Presolicitation.

L0:PGI 222.1302-3 Waivers.

L1:(c) When seeking a waiver of any of the terms of the clause at FAR 52.222-35, Equal
L0:Opportunity for Veterans, submit a waiver request through contracting channels to the labor
L0:advisor. If the request is justified, the labor advisor will endorse the request and forward it
L0:for action to?

L1:(i) The agency head for waivers under FAR 22.1305(a); or

L1:(ii) The Secretary of Defense, without the power of redelegation, for waivers under
L0:FAR 22.1305(b).

L0:PGI 222.17?COMBATING TRAFFICKING IN PERSONS

L0:For a sample checklist for auditing compliance with Combating Trafficking in Persons policy,
L0:click here.

L0:PGI 222.1703-1 Policy.

L1:(1) The Office of the Under Secretary of Defense for Personnel and Readiness

L0:(OUSD(P&R)) is responsible for developing overall guidance on personnel policy issues

L0:relating to Combating Trafficking in Persons (CTIP). The DoD CTIP website is

L0:<http://ctip.defense.gov/>. The website includes DoD policy on CTIP, CTIP training

L0:information, and links to the National TIP hotline, the DoD IG website, the Department of

L0:State Office to Monitor and Combat Trafficking in Persons, and other Government and non-

L0:Government organization websites.

L1:(2) Department of Defense Instruction 2200.01, reissued June 21, 2019, entitled

L0:Combating Trafficking in Persons (CTIP), (located at

L0:<https://www.esd.whs.mil/Portals/54/Documents/DD/issuances/dodi/220001p.pdf?ver=2019->

L0:06-21-102951-257), requires the incorporation of terms and conditions in contracts

L0:performed either inside or outside the United States that?

L1:(i) Prohibit any activities on the part of contractor employees that support or

L0:promote trafficking in persons; and

L1:(ii) Impose suitable penalties on contractors who fail to monitor the conduct of their

L0:employees.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

L1:(3) DoD Instruction 5525.11, Criminal Jurisdiction Over Civilians Employed By or

L0:Accompanying the Armed Forces Outside the United States, Certain Service Members, and

L0:Former Service Members, dated March 3, 2005, located at

L0:<http://www.dtic.mil/whs/directives/corres/pdf/552511p.pdf>, and as supplemented by

L0:Directive-Type Memorandum 09-015 at <http://www.dtic.mil/whs/directives/corres/pdf/DTM->

L0:09-015.pdf, implements policies and procedures, and assigns responsibilities, under the

L0:Military Extraterritorial Jurisdiction Act of 2000, as amended by section 1088 of the National

L0:Defense Authorization Act for Fiscal Year 2005, for exercising extraterritorial criminal

L0:jurisdiction over certain current and former members of the U.S. Armed Forces, and over

L0:civilians employed by or accompanying the U.S. Armed Forces outside the United States.

L1:(4) Quality assurance surveillance plans (QASPs) that are developed in accordance

L0:with DFARS 237.172 should appropriately describe how the contracting officer?s

L0:representative will monitor the contractor?s performance regarding trafficking in persons

L0:such that non-compliance with FAR clause 52.222-50, Combating Trafficking in Persons, is

L0:brought to the immediate attention of the contracting officer.

L1:(5) PD2 users must not use system overrides or other administrative methods of

L0:developing clauses for use in PD2-generated contracts to avoid the inclusion of the clause

L0:at FAR 52.222-50, with its Alternate I, if appropriate, in solicitations and contracts.

L1:(6) Rely on the requiring activity to ascertain the existence of any additional Geographic

L0:Combatant Commander's (GCC's)/Subordinate Joint Force Commander, Trafficking In

L0:Persons, Directives or Notices, as required under PGI 225.370, checklist item #12, that

L0:would require the use of Alternate I with the clause at FAR 52.222-50, Combating Trafficking

L0:in Persons, as required by FAR 22.1705 for contracts performed outside the United States.

L0:The webpage is provided at <https://www.acq.osd.mil/asda/dpc/cp/cc/aor.html> and by

L0:clicking on the pertinent GCC Area of Responsibility.

L0:PGI 222.1704 Violations.

L2:(a)(1) If the contracting officer receives information indicating that the contractor, a

L0:contractor employee, a subcontractor, or a subcontractor employee has failed to comply with

L0:the requirements of the clause at FAR 52.222-50, then?

L1:(i) Through the contracting officer's local commander or other designated

L0:representative, immediately notify the Combatant Commander responsible for the

L0:geographical area in which the incident has occurred; and

L1:(ii) Provide information about any investigation and enforcement to?

L0:<https://ctip.defense.gov/> or by email to dodctip@mail.mil; and

L1:(A) Program Manager, DoD CTIP Policy and Programs Support at

L0:Policy) by email to osd.pentagon.ousd-a-s.mbx.asda-dp-c-contractpolicy@mail.mil.

L1:(B) Defense Pricing, Contracting, and Acquisition Policy (Contract

L1:(2) Reports may be made to the DoD Inspector General Hotline at

L0:<http://www.dodig.mil/hotline/> or 800-424-9098.

L1:(3) Reports also may be made to the National Human Trafficking Hotline at 1-888-

L0:373-7888 or to the Hotline website at <https://humantraffickinghotline.org/>.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 22

L0:Defense FAR Supplement (DFARS) Part 222

L0:PGI 222.74?RESTRICTIONS ON THE USE OF MANDATORY ARBITRATION

L0:AGREEMENTS

L0:PGI 222.7404 Waiver.

L1:(c) Requests for waivers to the policy at DFARS 222.7402 must be submitted to the

L0:Secretary of Defense through the Office of the Principal Director, Defense Pricing,

L0:Contracting, and Acquisition Policy (Contract Policy). Requests for waivers may be

L0:submitted via email at osd.pentagon.ousd-a-s.mbx.asda-dp-c-contractpolicy@mail.mil.

L0:Include ?Waiver-Mandatory Arbitration? in the subject line of the message.

PART 23

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

223.107 Agency Programs

Status: active

L0:223.107 Agency Programs.

L2:(a)(i) When procuring, or specifying the use of, EPA-designated items that contain

L0:recovered material, follow the procedures at PGI 223.107-1(a)(i).

223.170 Products that contain, use, or are manufactured with ozone-depleting

Status: active

L0:223.170 Products that contain, use, or are manufactured with ozone-depleting

L0:substances or products that contain or use high global warming potential

L0:hydrofluorocarbons.

L0:No DoD contract may include a specification or standard that requires the use of a class

L0:I ozone-depleting substance or that can be met only through the use of such a substance

L0:unless the inclusion of the specification or standard is specifically authorized at a level

L0:no lower than a general or flag officer or a member of the Senior Executive Service of

L0:the requiring activity in accordance with section 326, Public Law 102-484 (10 U.S.C.

L0:3201 note prec.). This restriction is in addition to any imposed by the Clean Air Act and

L0:applies after June 1, 1993, to all DoD contracts, regardless of place of performance.

223.302 Hazardous material identification and safety data

Status: active

L0:223.302 Hazardous material identification and safety data.

L1:(e) Provide hazard warning labels, received from apparent successful offerors, to the

L0:cognizant safety officer.

223.304 Contract clauses

Status: active

L0:223.304 Contract clauses.

L0:Use the clause at 252.223-7001, Hazard Warning Labels, in solicitations and contracts

L0:which require submission of hazardous material data sheets (see FAR 23.302(c)).

223.370 Safety precautions for ammunition and explosives

Status: active

L0:223.370 Safety precautions for ammunition and explosives.

223.370-1 Scope

Status: active

L0:223.370-1 Scope.

L1:(a) This section applies to all acquisitions involving the use of ammunition and

L0:explosives, including acquisitions for?

L1:(1) Development;

L1:(2) Testing;

L1:(3) Research;

L1:(4) Manufacturing;

L1:(5) Handling or loading;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23

L0:Defense FAR Supplement (DFARS) Part 223

L1:(6) Assembling;

L1:(7) Packaging;

L1:(8) Storage;

L1:(9) Transportation;

L1:(10) Renovation;

L1:(11) Demilitarization;

L1:(12) Modification;

L1:(13) Repair;

L1:(14) Disposal;

L1:(15) Inspection; or

L1:(16) Any other use, including acquisitions requiring the use or the incorporation

L0:of materials listed in paragraph (b) of this subsection for initiation, propulsion, or

L0:detonation as an integral or component part of an explosive, an ammunition, or

L0:explosive end item or weapon system.

L1:(b) This section does not apply to acquisitions solely for?

L1:(1) Inert components containing no explosives, propellants, or pyrotechnics;

L1:(2) Flammable liquids;

L1:(3) Acids;

L1:(4) Oxidizers;

L1:(5) Powdered metals; or

L1:(6) Other materials having fire or explosive characteristics.

223.370-2 Definition

Status: active

L0:223.370-2 Definition.

L0:Ammunition and explosives, as used in this section, is defined in the clause at 252.223-7002, Safety Precautions for Ammunition and Explosives.

223.370-3 Policy

Status: active

L0:223.370-3 Policy.

L1:(a) DoD policy is to ensure that its contractors take reasonable precautions in

L0:handling ammunition and explosives so as to minimize the potential for mishaps.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23

L0:Defense FAR Supplement (DFARS) Part 223

L1:(b) DoD Manual 4145.26, DoD Contractors' Safety Manual for Ammunition and

L0:Explosives implements this policy, and it contains mandatory safety requirements for

L0:contractors. Contracts under which ammunition and explosives are handled must

L0:reflect this policy.

L1:(c) When work is to be performed on a Government-owned installation, the

L0:contracting officer may use the ammunition and explosives regulation of the DoD

L0:component or installation as a substitute for, or supplement to, DoD Manual 4145.26,

L0:as long as the contract cites the ammunition and explosives regulation of the DoD

L0:component or installation.

223.370-4 Procedures

Status: active

L0:223.370-4 Procedures.

L0:Follow the procedures at PGI 223.370-4.

223.370-5 Contract clauses

Status: active

L0:223.370-5 Contract clauses.

L0:Use the clauses at 252.223-7002, Safety Precautions for Ammunition and Explosives,

L0:and 252.223-7003, Change in Place of Performance?Ammunition and Explosives, in all

L0:solicitations and contracts for acquisition to which this section applies.

223.7101 Definitions

Status: active

L0:223.7101 Definitions.

L0:As used in this subpart, the terms storage and toxic or hazardous materials are defined

L0:in the clause at 252.223-7006, Prohibition on Storage, Treatment, and Disposal of Toxic

L0:or Hazardous Materials.

223.7102 Policy

Status: active

L0:223.7102 Policy.

L1:(a) 10 U.S.C. 2692 prohibits storage, treatment, or disposal on DoD installations of
L0:toxic or hazardous materials that are not owned either by DoD or by a member of the
L0:armed forces (or a dependent of the member) assigned to or provided military housing
L0:on the installation, unless an exception in 223.7104 applies.

L1:(b) When storage of toxic or hazardous materials is authorized based on an
L0:imminent danger, the storage provided must be temporary and must cease once the
L0:imminent danger no longer exists. In all other cases of storage or disposal, the storage
L0:or disposal must be terminated as determined by the Secretary of Defense.

223.7103 Procedures

Status: active

L0:223.7103 Procedures.

L2:(a) (1) Storage, treatment, or disposal of toxic or hazardous materials not owned by
L0:DoD on a DoD installation is prohibited unless?

L1:(i) One or more of the exceptions set forth in 223.7104(a) is met including
L0:requisite approvals; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23
L0:Defense FAR Supplement (DFARS) Part 223

L1:(ii) Secretary of Defense authorization is obtained under the conditions set
L0:forth in 223.7104(b).

L1:(2) If a contract authorizes a contractor to store, treat, or dispose of toxic or
L0:hazardous materials not owned by DoD, then the contract must explicitly identify the
L0:specific types and quantities of materials permitted. It must also outline the conditions
L0:under which these activities are allowed at DoD installations or space launch facilities.
L0:All solicitations and resulting contracts must include these requirements to ensure
L0:compliance with applicable environmental and safety regulations.

L1:(b) If the contracting officer is uncertain as to whether particular activities are
L0:prohibited or fall under one of the exceptions in 223.7104, the contracting officer should
L0:seek advice from the cognizant office of counsel.

223.7104 Exceptions

Status: active

L0:223.7104 Exceptions.

L1:(a) The prohibition of 10 U.S.C. 2692 does not apply to any of the following:

L1:(1) The storage, treatment, or disposal of materials that will be or have been
L0:used in connection with an activity of DoD or in connection with a service to be
L0:performed on a DoD installation for the benefit of DoD.

L1:(2) The storage of strategic and critical materials in the National Defense

L0:Stockpile under an agreement for such storage with the Administrator of General
L0:Services Administration.

L1:(3) The temporary storage or disposal of explosives in order to protect the public

L0:or to assist agencies responsible for Federal, State, or local law enforcement in storing

L0:or disposing of explosives when no alternative solution is available, if such storage or

L0:disposal is made in accordance with an agreement between the Secretary of Defense

L0:and the head of the Federal, State, or local agency concerned.

L1:(4) The temporary storage or disposal of explosives in order to provide

L0:emergency lifesaving assistance to civil authorities.

L1:(5) The disposal of excess explosives produced under a DoD contract, if the head

L0:of the military department concerned determines, in each case, that an alternative

L0:feasible means of disposal is not available to the contractor, taking into consideration

L0:public safety, available resources of the contractor, and national defense production

L0:requirements.

L1:(6) The temporary storage of nuclear materials or nonnuclear classified

L0:materials in accordance with an agreement with the Secretary of Energy.

L1:(7) The storage of materials that constitute military resources intended for use

L0:during peacetime civil emergencies in accordance with applicable DoD regulations.

L1:(8) The temporary storage of materials of other Federal agencies in order to

L0:provide assistance and refuge for commercial carriers of such material during a

L0:transportation emergency.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23

L0:Defense FAR Supplement (DFARS) Part 223

L1:(9) The storage of any material that is not owned by DoD, if the Secretary of the

L0:military department concerned determines that the material is required or generated in

L0:connection with the authorized and compatible use of a facility of DoD, including the

L0:use of such a facility for testing material or training personnel.

L1:(10) The treatment and disposal of any toxic or hazardous materials not owned

L0:by DoD, if the Secretary of the military department concerned determines that the

L0:material is required or generated in connection with the authorized and compatible use

L0:of a facility of that military department and the Secretary enters into a contract or

L0:agreement with the prospective user that?

L1:(i) Is consistent with the best interest of national defense and environmental

L0:security; and

L1:(ii) Provides for the prospective user's continued financial and

L0:environmental responsibility and liability with regard to the material.

L1:(11) The storage of any material that is not owned by DoD if the Secretary of

L0:the military department concerned determines that the material is required or

L0:generated in connection with the use of a space launch facility located on a DoD

L0:installation or on other land controlled by the United States.

L1:(b) The Secretary of Defense may grant an exception to the prohibition in 10 U.S.C.

L0:2692 when essential to protect the health and safety of the public from imminent

L0:danger if the Secretary otherwise determines the exception is essential and if the

L0:storage or disposal authorized does not compete with private enterprise.

223.7105 Reimbursement

Status: active

L0:223.7105 Reimbursement.

L0:The Secretary of Defense may assess a charge for any storage or disposal provided

L0:under this subpart. If a charge is assessed, then the contract must identify the

L0:assessment with payment to the Government on a reimbursable cost basis.

223.7106 Contract clause

Status: active

L0:223.7106 Contract clause.

L0:Insert the basic or the alternate of the clause at 252.223-7006, Prohibition on Storage,

L0:Treatment, and Disposal of Toxic or Hazardous Materials, in all solicitations and

L0:contracts which require, may require, or permit contractor access to a DoD installation.

L1:(a) Insert the basic clause, unless a determination is made under 223.7104(a)(10).

L1:(b) Insert the alternate I clause when the Secretary of the military department

L0:issues a determination under the exception at 223.7104(a)(10).

223.7200 Definition

Status: active

L0:223.7200 Definition.

L0:As used in this subpart?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23

L0:Defense FAR Supplement (DFARS) Part 223

L0:Arms, ammunition, and explosives (AA&E) means those items within the scope of DoD

L0:Manual 5100.76, Physical Security of Sensitive Conventional Arms, Ammunition, and

L0:Explosives.

223.7201 Policy

Status: active

L0:223.7201 Policy.

L1:(a) The requirements of DoD Manual 5100.76, Physical Security of Sensitive

L0:Conventional Arms, Ammunition, and Explosives, applies to contracts when?

L1:(1) AA&E will be provided to the contractor or subcontractor as Government-

L0:furnished property; or

L1:(2) The principal development, production, manufacture, or purchase of AA&E

L0:is for DoD use.

L1:(b) The requirements of DoD Manual 5100.76 do not apply to contracts when?

L1:(1) The AA&E to be acquired under the contract is a commercial product within

L0:the meaning of FAR 2.101; or

L1:(2) The contract will be performed in a Government-owned contractor-operated
L0:ammunition production facility. However, the requirements of DoD Manual 5100.76
L0:apply where subcontracts issued under such a contract meet the criteria of paragraph
L1:(a) of this section.

223.7202 Preaward responsibilities

Status: active

L0:223.7202 Preaward responsibilities.
L0:When an acquisition involves AA&E, technical or requirements personnel must specify
L0:in the purchase request?
L1:(a) That AA&E is involved; and
L1:(b) Which physical security requirements of DoD Manual 5100.76 apply.

223.7203 Contract clause

Status: active

L0:223.7203 Contract clause.
L0:Insert the clause at 252.223-7007, Safeguarding Sensitive Conventional Arms,
L0:Ammunition, and Explosives, in all solicitations and contracts to which DoD Manual
L0:5100.76 applies, in accordance with the policy at 223.7201. Complete paragraph (b) of
L0:the clause based on information provided by cognizant technical or requirements
L0:personnel.

223.7300 Definition

Status: active

L0:223.7300 Definition.
L0:As used in this subpart?
L0:Legacy system means any program that has passed Milestone A in the defense
L0:acquisition management system, as defined in DoD Instruction 5000.02.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23
L0:Defense FAR Supplement (DFARS) Part 223

223.7301 Policy

Status: active

L0:223.7301 Policy.
L0:In accordance with the DoD policy memorandum of April 8, 2009, Minimizing the Use
L0:of Hexavalent Chromium, DoD policy is to minimize hexavalent chromium (an anti-
L0:corrosive) in items acquired by DoD (deliverables and construction material), due to the
L0:serious human health and environmental risks related to its use.

223.7302 [Reserved]

Status: active

L0:223.7302 [Reserved]

223.7303 Prohibition

Status: active

L0:223.7303 Prohibition.

L1:(a) Except as provided in 223.7304 and 223.7305, no contract may include a

L0:specification or standard that results in a deliverable or construction material

L0:containing more than 0.1 percent hexavalent chromium by weight in any homogeneous

L0:material in the deliverable or construction material where proven substitutes are

L0:available that provide acceptable performance for the application.

L1:(b) This prohibition is in addition to any imposed by the Clean Air Act regardless of

L0:the place of performance.

223.7304 Exceptions

Status: active

L0:223.7304 Exceptions.

L0:The prohibition in 223.7303 does not apply to?

L1:(a) Legacy systems and their related parts, subsystems, and components that

L0:already contain hexavalent chromium. However, the appropriate official must consider

L0:alternatives to hexavalent chromium during system modifications, follow-on

L0:procurements of legacy systems, or maintenance procedure updates; and

L1:(b) Additional sustainment related contracts (e.g., parts, services) for a system in

L0:which use of hexavalent chromium was previously approved.

223.7305 Authorization and approval

Status: active

L0:223.7305 Authorization and approval.

L1:(a) The prohibition in 223.7303 does not apply to critical defense applications if no

L0:substitute can meet performance requirements. The DoD policy of April 8, 2009,

L0:Minimizing the Use of Hexavalent Chromium, contains requirements for weighing

L0:use of hexavalent chromium versus substitutes. DoD Program Managers must consider

L0:the following factors?

L1:(1) Cost effectiveness of alternative materials or processes;

L1:(2) Technical feasibility of alternative materials or processes;

L1:(3) Environment, safety, and occupational health risks associated with the use

L0:of the hexavalent chromium or substitute materials in each specific application;

L1:(4) Achieving a DoD Manufacturing Readiness Level of at least eight for any

L0:qualified alternative;

L1:(5) Materiel availability of hexavalent chromium and the proposed alternatives

L0:over the projected life span of the system; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23

L0:Defense FAR Supplement (DFARS) Part 223

L1:(6) Corrosion performance difference of alternative materials or processes as

L0:determined by agency corrosion subject matter experts.

L1:(b) However, unless an exception in 223.7304 applies, the incorporation of

L0:hexavalent chromium in items acquired by DoD must be specifically authorized at a

L0:level no lower than a general or flag officer or a member of the Senior Executive Service

L0:from the Program Executive Office or equivalent level, in coordination with the

L0:component Corrosion Control and Prevention Executive. Follow the procedures in PGI

L0:223.7305.

223.7306 Contract clause

Status: active

L0:223.7306 Contract clause.

L0:Unless an exception in 223.7304 applies, or use has been authorized in accordance with

L0:223.7305, use the clause at 252.223-7008, Prohibition of Hexavalent Chromium, in

L0:solicitations and contracts, including solicitations and contracts using FAR part 12

L0:procedures for the acquisition of commercial products and commercial services, that are

L0:for supplies, maintenance and repair services, or construction.

223.7400 Scope of subpart

Status: active

L0:223.7400 Scope of subpart.

L0:This subpart implements section 322(b), (c), and (d) of the National Defense

L0:Authorization Act for Fiscal Year 2020 (Pub. L. 116-92).

223.7401 Definition

Status: active

L0:223.7401 Definition.

L0:As used in this subpart?

L0:Ocean-going vessel means a vessel over 59 feet in length owned or operated by DoD or

L0:the U.S. Coast Guard, other than vessels that are chartered by the Armed Forces on a

L0:time or voyage basis.

223.7402 Prohibition

Status: active

L0:223.7402 Prohibition.

L0:Do not procure any fire-fighting agent that contains in excess of one part per billion

L0:perfluoroalkyl substances or polyfluoroalkyl substances. Procurements of fire-fighting

L0:agent for use solely onboard ocean-going vessels are exempt from this prohibition.

223.7403 Procedures

Status: active

L0:223.7403 Procedures.

L0:Do not issue a solicitation for any fire-fighting agent that contains perfluoroalkyl or

L0:polyfluoroalkyl substances in excess of one part per billion, unless the requiring activity

L0:provides documentation of the exemption at 223.7402. Maintain the documentation in

L0:the contract file.

223.7404 Contract clause

Status: active

L0:223.7404 Contract clause.

L0:Use the clause at 252.223-7009, Prohibition of Procurement of Fluorinated Fire-

L0:Fighting Agent for Use on Military Installations, in solicitations and contracts,

L0:including solicitations and contracts using FAR part 12 procedures for the acquisition of

L0:commercial products and commercial services, relating to fire-fighting on military

L0:installations.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23

L0:Defense FAR Supplement (DFARS) Part 223

252.223-7000 Reserved

Status: active

L0:252.223-7000 Reserved.

252.223-7001 Hazard Warning Labels

Status: active

L0:252.223-7001 Hazard Warning Labels.

L0:As prescribed in 223.304, use the following clause:

L0:HAZARD WARNING LABELS (DEC 1991)

L1:(a) ?Hazardous material,? as used in this clause, is defined in the Hazardous

L0:Material Identification and Material Safety Data clause of this contract.

L1:(b) The Contractor shall label the item package (unit container) of any hazardous

L0:material to be delivered under this contract in accordance with the Hazard

L0:Communication Standard (29 CFR 1910.1200 et seq). The Standard requires that the

L0:hazard warning label conform to the requirements of the standard unless the material
L0:is otherwise subject to the labelling requirements of one of the following statutes:
L1:(1) Federal Insecticide, Fungicide and Rodenticide Act;
L1:(2) Federal Food, Drug and Cosmetics Act;
L1:(3) Consumer Product Safety Act;
L1:(4) Federal Hazardous Substances Act; or
L1:(5) Federal Alcohol Administration Act.
L1:(c) The Offeror shall list which hazardous material listed in the Hazardous Material
L0:Identification and Material Safety Data clause of this contract will be labelled in
L0:accordance with one of the Acts in paragraphs (b)(1) through (5) of this clause instead of
L0:the Hazard Communication Standard. Any hazardous material not listed will be
L0:interpreted to mean that a label is required in accordance with the Hazard
L0:Communication Standard.
L0:MATERIAL (If None, Insert ?None.?)
L0:ACT
L1:(d) The apparently successful Offeror agrees to submit, before award, a copy of the
L0:hazard warning label for all hazardous materials not listed in paragraph (c) of this
L0:clause. The Offeror shall submit the label with the Material Safety Data Sheet being
L0:furnished under the Hazardous Material Identification and Material Safety Data clause
L0:of this contract.
L1:(e) The Contractor shall also comply with MIL-STD-129, Marking for Shipment and
L0:Storage (including revisions adopted during the term of this contract).
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23
L0:Defense FAR Supplement (DFARS) Part 223
L0:(End of clause)

252.223-7002 Safety Precautions for Ammunition and Explosives

Status: active

L0:252.223-7002 Safety Precautions for Ammunition and Explosives.
L0:As prescribed in 223.370-5, use the following clause:
L0:SAFETY PRECAUTIONS FOR AMMUNITION AND EXPLOSIVES (NOV 2023)
L1:(a) Definition. ?Ammunition and explosives,? as used in this clause?
L1:(1) Means liquid and solid propellants and explosives, pyrotechnics,
L0:incendiaries and smokes in the following forms:
L1:(i) Bulk,
L1:(ii) Ammunition;
L1:(iii) Rockets;
L1:(iv) Missiles;
L1:(v) Warheads;
L1:(vi) Devices; and
L1:(vii) Components of (i) through (vi), except for wholly inert items.
L1:(2) This definition does not include the following, unless the Contractor is using
L0:or incorporating these materials for initiation, propulsion, or detonation as an integral

L0:or component part of an explosive, an ammunition or explosive end item, or of a weapon
L0:system?

L1:(i) Inert components containing no explosives, propellants, or pyrotechnics;

L1:(ii) Flammable liquids;

L1:(iii) Acids;

L1:(iv) Oxidizers;

L1:(v) Powdered metals; or

L1:(vi) Other materials having fire or explosive characteristics.

L1:(b) Safety requirements.

L1:(1) The Contractor shall comply with the requirements of DoD Manual 4145.26,

L0:DoD Contractors? Safety Manual for Ammunition and Explosives, hereafter referred to

L0:as ?the manual,? in effect on the date of the solicitation for this contract. The

L0:Contractor shall also comply with any other additional requirements included in the

L0:schedule of this contract.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23

L0:Defense FAR Supplement (DFARS) Part 223

L1:(2) The Contractor shall allow the Government access to the Contractor's

L0:facilities, personnel, and safety program documentation. The Contractor shall allow

L0:authorized Government representatives to evaluate safety programs, implementation,

L0:and facilities.

L1:(c) Noncompliance with the manual.

L1:(1) If the Contracting Officer notifies the Contractor of any noncompliance with

L0:the manual or schedule provisions, the Contractor shall take immediate steps to correct

L0:the noncompliance. The Contractor is not entitled to reimbursement of costs incurred to

L0:correct noncompliances unless such reimbursement is specified elsewhere in the

L0:contract.

L1:(2) The Contractor has 30 days from the date of notification by the Contracting

L0:Officer to correct the noncompliance and inform the Contracting Officer of the actions

L0:taken. The Contracting Officer may direct a different time period for the correction of

L0:noncompliances.

L1:(3) If the Contractor refuses or fails to correct noncompliances within the time

L0:period specified by the Contracting Officer, the Government has the right to direct the

L0:Contractor to cease performance on all or part of this contract. The Contractor shall not

L0:resume performance until the Contracting Officer is satisfied that the corrective action

L0:was effective and the Contracting Officer so informs the Contractor.

L1:(4) The Contracting Officer may remove Government personnel at any time the

L0:Contractor is in noncompliance with any safety requirement of this clause.

L1:(5) If the direction to cease work or the removal of Government personnel

L0:results in increased costs to the Contractor, the Contractor shall not be entitled to an

L0:adjustment in the contract price or a change in the delivery or performance schedule

L0:unless the Contracting Officer later determines that the Contractor had in fact complied

L0:with the manual or schedule provisions. If the Contractor is entitled to an equitable

L0:adjustment, it shall be made in accordance with the Changes clause of this contract.

L1:(d) Mishaps. If a mishap involving ammunition or explosives occurs, the Contractor

L0:shall?

L1:(1) Notify the Contracting Officer immediately;

L1:(2) Conduct an investigation in accordance with other provisions of this contract

L0:or as required by the Contracting Officer; and

L1:(3) Submit a written report to the Contracting Officer.

L1:(e) Contractor responsibility for safety.

L1:(1) Nothing in this clause, nor any Government action or failure to act in

L0:surveillance of this contract, shall relieve the Contractor of its responsibility for the

L0:safety of?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23

L0:Defense FAR Supplement (DFARS) Part 223

L1:(i) The Contractor's personnel and property;

L1:(ii) The Government's personnel and property; or

L1:(iii) The general public.

L1:(2) Nothing in this clause shall relieve the Contractor of its responsibility for

L0:complying with applicable Federal, State, and local laws, ordinances, codes, and

L0:regulations (including those requiring the obtaining of licenses and permits) in

L0:connection with the performance of this contract.

L1:(f) Contractor responsibility for contract performance.

L1:(1) Neither the number or frequency of inspections performed by the

L0:Government, nor the degree of surveillance exercised by the Government, relieve the

L0:Contractor of its responsibility for contract performance.

L1:(2) If the Government acts or fails to act in surveillance or enforcement of the

L0:safety requirements of this contract, this does not impose or add to any liability of the

L0:Government.

L1:(g) Subcontractors.

L1:(1) The Contractor shall insert this clause, including this paragraph (g), in

L0:every subcontract that involves ammunition or explosives.

L1:(i) The clause shall include a provision allowing authorized Government

L0:safety representatives to evaluate subcontractor safety programs, implementation, and

L0:facilities as the Government determines necessary.

L1:(ii) NOTE: The Government Contracting Officer or authorized

L0:representative shall notify the prime Contractor of all findings concerning subcontractor

L0:safety and compliance with the manual. The Contracting Officer or authorized

L0:representative may furnish copies to the subcontractor. The Contractor in turn shall

L0:communicate directly with the subcontractor, substituting its name for references to

L0:the Government?. The Contractor and higher tier subcontractors shall also include

L0:provisions to allow direction to cease performance of the subcontract if a serious

L0:uncorrected or recurring safety deficiency potentially causes an imminent hazard to

L0:DoD personnel, property, or contract performance.

L1:(2) The Contractor agrees to ensure that the subcontractor complies with all

L0:contract safety requirements. The Contractor will determine the best method for

L0:verifying the adequacy of the subcontractor's compliance.

L1:(3) The Contractor shall ensure that the subcontractor understands and agrees

L0:to the Government's right to access to the subcontractor's facilities, personnel, and

L0:safety program documentation to perform safety surveys. The Government performs

L0:these safety surveys of subcontractor facilities solely to prevent the occurrence of any
L0:mishap which would endanger the safety of DoD personnel or otherwise adversely
L0:impact upon the Government's contractual interests.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23
L0:Defense FAR Supplement (DFARS) Part 223
L1:(4) The Contractor shall notify the Contracting Officer or authorized
L0:representative before issuing any subcontract when it involves ammunition or
L0:explosives. If the proposed subcontract represents a change in the place of performance,
L0:the Contractor shall request approval for such change in accordance with the clause of
L0:this contract entitled ?Change in Place of Performance--Ammunition and Explosives?.
L0:(End of clause)

252.223-7003 Change in Place of Performance--Ammunition and Explosives

Status: active

L0:252.223-7003 Change in Place of Performance--Ammunition and Explosives.
L0:As prescribed in 223.370-5, use the following clause:

L0:CHANGE IN PLACE OF PERFORMANCE--AMMUNITION AND EXPLOSIVES

L0:(DEC 1991)

L1:(a) The Offeror shall identify, in the ?Place of Performance? provision of this
L0:solicitation, the place of performance of all ammunition and explosives work covered by
L0:the Safety Precautions for Ammunition and Explosives clause of this solicitation.
L0:Failure to furnish this information with the offer may result in rejection of the offer.
L1:(b) The Offeror agrees not to change the place of performance of any portion of the
L0:offer covered by the Safety Precautions for Ammunition and Explosives clause
L0:contained in this solicitation after the date set for receipt of offers without the written
L0:approval of the Contracting Officer. The Contracting Officer shall grant approval only if
L0:there is enough time for the Government to perform the necessary safety reviews on the
L0:new proposed place of performance.
L1:(c) If a contract results from this offer, the Contractor agrees not to change any
L0:place of performance previously cited without the advance written approval of the
L0:Contracting Officer.
L0:(End of clause)

252.223-7004 Reserved

Status: active

L0:252.223-7004 Reserved

252.223-7005 Reserved

Status: active

L0:252.223-7005 Reserved.

252.223-7006 Prohibition on Storage, Treatment, and Disposal of Toxic or

Status: active

L0:252.223-7006 Prohibition on Storage, Treatment, and Disposal of Toxic or
L0:Hazardous Materials.

L0:Basic. As prescribed in 223.7106 and 223.7106(a), use the following clause:

L0:PROHIBITION ON STORAGE, TREATMENT, AND DISPOSAL OF TOXIC OR L0:HAZARDOUS MATERIALS?BASIC (SEP 2014)

L1:(a) Definitions. As used in this clause?

L0:Storage? means a non-transitory, semi-permanent or permanent holding,
L0:placement, or leaving of material. It does not include a temporary accumulation of a
L0:limited quantity of a material used in or a waste generated or resulting from authorized
L0:activities, such as servicing, maintenance, or repair of Department of Defense (DoD)
L0:items, equipment, or facilities.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23

L0:Defense FAR Supplement (DFARS) Part 223

L0:Toxic or hazardous materials? means?

L1:(i) Materials referred to in section 101(14) of the Comprehensive Environmental
L0:Response, Compensation, and Liability Act (CERCLA) of 1980 (42 U.S.C. 9601(14)) and
L0:materials designated under section 102 of CERCLA (42 U.S.C. 9602) (40 CFR Part 302);
L1:(ii) Materials that are of an explosive, flammable, or pyrotechnic nature; or
L1:(iii) Materials otherwise identified by the Secretary of Defense as specified in
L0:DoD regulations.

L1:(b) In accordance with 10 U.S.C. 2692, the Contractor is prohibited from storing,
L0:treating, or disposing of toxic or hazardous materials not owned by DoD on a DoD
L0:installation, except to the extent authorized by a statutory exception to 10 U.S.C. 2692
L0:or as authorized by the Secretary of Defense. A charge may be assessed for any storage
L0:or disposal authorized under any of the exceptions to 10 U.S.C. 2692. If a charge is to
L0:be assessed, then such assessment shall be identified elsewhere in the contract with
L0:payment to the Government on a reimbursable cost basis.

L1:(c) The Contractor shall include the substance of this clause, including this
L0:paragraph (c), in all subcontracts that require, may require, or permit a subcontractor
L0:access to a DoD installation, at any subcontract tier.

L0:(End of clause)

L0:Alternate I. As prescribed in 223.7106 and 223.7106(b), use the following clause,
L0:which adds a new paragraph (c) and revises and redesignates paragraph (c) of the basic
L0:clause as paragraph (d):

L0:PROHIBITION ON STORAGE, TREATMENT, AND DISPOSAL OF TOXIC OR L0:HAZARDOUS MATERIALS?ALTERNATE I (SEP 2014)

L1:(a) Definitions. As used in this clause?

L0:Storage? means a non-transitory, semi-permanent or permanent holding,
L0:placement, or leaving of material. It does not include a temporary accumulation of a
L0:limited quantity of a material used in or a waste generated or resulting from authorized
L0:activities, such as servicing, maintenance, or repair of Department of Defense (DoD)
L0:items, equipment, or facilities.

L0:Toxic or hazardous materials? means?

L1:(i) Materials referred to in section 101(14) of the Comprehensive Environmental

L0:Response, Compensation, and Liability Act (CERCLA) of 1980 (42 U.S.C. 9601(14)) and

L0:materials designated under section 102 of CERCLA (42 U.S.C. 9602) (40 CFR Part 302);

L1:(ii) Materials that are of an explosive, flammable, or pyrotechnic nature; or

L1:(iii) Materials otherwise identified by the Secretary of Defense as specified in

L0:DoD regulations.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23

L0:Defense FAR Supplement (DFARS) Part 223

L1:(b) In accordance with 10 U.S.C. 2692, the Contractor is prohibited from storing,

L0:treating, or disposing of toxic or hazardous materials not owned by DoD on a DoD

L0:installation, except to the extent authorized by a statutory exception to 10 U.S.C. 2692

L0:or as authorized by the Secretary of Defense. A charge may be assessed for any storage

L0:or disposal authorized under any of the exceptions to 10 U.S.C. 2692. If a charge is to

L0:be assessed, then such assessment shall be identified elsewhere in the contract with

L0:payment to the Government on a reimbursable cost basis.

L1:(c) With respect to treatment or disposal authorized pursuant to DFARS

L0:223.7104(10) (10 U.S.C. 2692(b)(10)), and notwithstanding any other provision of the

L0:contract, the Contractor assumes all financial and environmental responsibility and

L0:liability resulting from any treatment or disposal of toxic or hazardous materials not

L0:owned by DoD on a military installation. The Contractor shall indemnify, defend, and

L0:hold the Government harmless for all costs, liability, or penalties resulting from the

L0:Contractor's treatment or disposal of toxic or hazardous materials not owned by DoD on

L0:a military installation.

L1:(d) The Contractor shall include the substance of this clause, including this

L0:paragraph (d), in all subcontracts that require, may require, or permit a subcontractor

L0:access to a DoD installation, at any tier. Inclusion of the substance of this clause in

L0:subcontracts does not relieve the prime Contractor of liability to the Government under

L0:paragraph (c).

L0:(End of clause)

252.223-7007 Safeguarding Sensitive Conventional Arms, Ammunition, and

Status: active

L0:252.223-7007 Safeguarding Sensitive Conventional Arms, Ammunition, and

L0:Explosives.

L0:As prescribed in 223.7203, use the following clause:

L0:SAFEGUARDING SENSITIVE CONVENTIONAL ARMS, AMMUNITION,

L0:AND EXPLOSIVES (NOV 2023)

L1:(a) Definition. As used in this clause?

L0:Arms, ammunition, and explosives (AA&E),? means those items within the scope of

L0:DoD Manual 5100.76, Physical Security of Sensitive Conventional Arms, Ammunition,

L0:and Explosives.

L1:(b) The requirements of DoD Manual 5100.76 apply to the following items of AA&E

L0:being developed, produced, manufactured, or purchased for the Government, or
L0:provided to the Contractor as Government-furnished property under this contract:

L0:NOMENCLATURE

L0:NATIONAL

L0:STOCK NUMBER

L0:SENSITIVITY/

L0:CATEGORY

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23

L0:Defense FAR Supplement (DFARS) Part 223

L1:(c) The Contractor shall comply with the requirements of DoD Manual 5100.76, as
L0:specified in the statement of work. The edition of DoD Manual 5100.76 in effect on the
L0:date of issuance of the solicitation for this contract shall apply.

L1:(d) The Contractor shall allow representatives of the Defense Counterintelligence
L0:and Security Agency (DCSA) and representatives of other appropriate offices of the
L0:Government, access at all reasonable times into its facilities and those of its
L0:subcontractors, for the purpose of performing surveys, inspections, and investigations
L0:necessary to review compliance with the physical security standards applicable to this
L0:contract.

L1:(e) The Contractor shall notify the cognizant DCSA field office of any subcontract
L0:involving AA&E within 10 days after award of the subcontract.

L1:(f) Subcontracts. The Contractor shall ensure that the requirements of this clause
L0:are included in all subcontracts, at every tier?

L1:(1) For the development, production, manufacture, or purchase of AA&E; or

L1:(2) When AA&E will be provided to the subcontractor as Government-furnished
L0:property.

L1:(g) Nothing in this clause shall relieve the Contractor of its responsibility for
L0:complying with applicable Federal, state, and local laws, ordinances, codes, and
L0:regulations (including requirements for obtaining licenses and permits) in connection
L0:with the performance of this contract.

252.223-7008 Prohibition of Hexavalent Chromium

Status: active

L0:252.223-7008 Prohibition of Hexavalent Chromium.

L0:As prescribed in 223.7306, use the following clause:

L0:(End of clause)

L0:PROHIBITION OF HEXAVALENT CHROMIUM (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Homogeneous material? means a material that cannot be mechanically disjointed
L0:into different materials and is of uniform composition throughout.

L1:(1) Examples of homogeneous materials include individual types of plastics,
L0:ceramics, glass, metals, alloys, paper, board, resins, and surface coatings.

L1:(2) Homogeneous material does not include conversion coatings that chemically
L0:modify the substrate.

L0: ?Mechanically disjointed? means that the materials can, in principle, be separated
L0: by mechanical actions such as unscrewing, cutting, crushing, grinding, and abrasive
L0: processes.

L1: (b) Prohibition.

L0: Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23
L0: Defense FAR Supplement (DFARS) Part 223

L1: (1) Unless otherwise specified by the Contracting Officer, the Contractor shall
L0: not provide any deliverable or construction material under this contract that?

L1: (i) Contains hexavalent chromium in a concentration greater than 0.1
L0: percent by weight in any homogenous material; or

L1: (ii) Requires the removal or reapplication of hexavalent chromium materials
L0: during subsequent sustainment phases of the deliverable or construction material.

L1: (2) This prohibition does not apply to hexavalent chromium produced as a by-
L0: product of manufacturing processes.

L1: (c) If authorization for incorporation of hexavalent chromium in a deliverable or
L0: construction material is required, the Contractor shall submit a request to the
L0: Contracting Officer.

L1: (d) Subcontracts. The Contractor shall include the substance of this clause,
L0: including this paragraph (d), in all subcontracts, including subcontracts for commercial
L0: products or commercial services, that are for supplies, maintenance and repair services,
L0: or construction materials.

L0: (End of clause)

252.223-7009 Prohibition of Procurement of Fluorinated Aqueous Film-

Status: active

L0: 252.223-7009 Prohibition of Procurement of Fluorinated Aqueous Film-
L0: Forming Foam Fire-Fighting Agent for Use on Military Installations.

L0: As prescribed in 223.7404, use the following clause:

**L0: PROHIBITION OF PROCUREMENT OF FLUORINATED AQUEOUS FILM-
L0: FORMING FOAM FIRE-FIGHTING AGENT FOR USE ON MILITARY
L0: INSTALLATIONS (FEB 2024)**

L1: (a) Definitions. As used in this clause, ?perfluoroalkyl substances? and
L0: ?polyfluoroalkyl substances? have the meanings given in section 322(f) of the National
L0: Defense Authorization Act for Fiscal Year 2020 (Pub. L. 116-92).

L1: (b) Prohibition. The Contractor shall not provide or use under this contract any
L0: aqueous film-forming foam fire-fighting agent that contains perfluoroalkyl substances
L0: or polyfluoroalkyl substances in excess of one part per billion.

L1: (c) Subcontracts. The Contractor shall include the substance of this clause,
L0: including this paragraph (c), in all subcontracts, including subcontracts for commercial
L0: products and commercial services, relating to fire-fighting on a military installation.

L0: (End of clause)

L0: Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23
L0: Defense FAR Supplement (DFARS) Part 223

L0:PGI 223?SUSTAINABLE ACQUISITION, MATERIAL SAFETY, AND POLLUTION

L0:PREVENTION

L0:PGI 223.1?SUSTAINABLE PRODUCTS

L0:PGI 223.107 Agency Programs.

L2:(a)(i) Departments and agencies must centrally collect information submitted in

L0:accordance with the clause at FAR 52.223-9 for reporting to the Office of the Deputy Under

L0:Secretary of Defense (Installations and Environment). The information is collected in the

L0:Federal Procurement Data System (FPDS).

L0:PGI 223.3?MATERIAL SAFETY

L0:PGI 223.370 Safety precautions for ammunition and explosives.

L0:PGI 223.370-4 Procedures.

L1:(1) Preaward phase.

L1:(i) Waiver of the mandatory requirements.

L1:(A) Before either omitting the clause at DFARS 252.223-7002, Safety

L0:Precautions for Ammunition and Explosives, from solicitations and contracts or waiving the

L0:mandatory requirements of the manual, obtain approval of?

L0:and

L1:(1) The safety personnel responsible for ammunition and explosives safety;

L1:(2) The head of the contracting activity.

L1:(B) If the contracting officer decides to waive the mandatory requirements

L0:before award, then state in the solicitation, or in an amendment of the solicitation, the

L0:specific requirements to be waived.

L1:(C) If the head of the contracting activity declines to approve a request for

L0:waiver, but the prospective contractor agrees to take corrective action to bring the operation

L0:into compliance, make the corrective action a part of the resulting contract.

L1:(ii) Transportation considerations. If shipment of ammunition and explosives is

L0:involved in the contract, address in the Schedule of the contract the applicable Department

L0:of Transportation or Military Surface Deployment and Distribution Command requirements

L0:and any other requirements for transportation, packaging, marking, and labeling.

L1:(iii) Disposition of excess. Include instructions within the contract concerning final

L0:disposition of excess Government furnished material containing ammunition and explosives,

L0:including defective or rejected supplies.

L1:(iv) Preaward safety survey. Before awarding any contract, including purchase

L0:orders, involving ammunition and explosives, obtain a preaward ammunition and explosives

L0:safety survey. If the prospective contractor proposes subcontracting any ammunitions or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23

L0:Defense FAR Supplement (DFARS) Part 223

L0:explosive work, include a review of the subcontractor's facility in the preaward safety survey.

L1:(2) Postaward phase.

L1:(i) Contract administration office responsibility.

L1:(A) The contract administration office is responsible for verifying that the safety

L0:requirements of the clause at DFARS 252.223-7002, Safety Precautions for Ammunition and

L0:Explosives, are being implemented in a manner that will reduce, to the maximum extent

L0:practicable, or eliminate the probability of a mishap occurring.

L1:(B) The clause at DFARS 252.223-7002, Safety Precautions for Ammunition and Explosives, requires compliance with DoD Manual 4145.26, Contractors? Safety Manual for Ammunition and Explosives. This manual requires the contractor to submit to the administrative contracting officer (ACO) any postaward requests for a waiver of the contract safety standards, a site plan modification, or a construction review. The ACO shall review any request and make recommendations to the contracting officer, who must decide after considering recommendations of the ACO and safety personnel responsible for ammunition and explosive safety.

L0:ACO has seen it, immediately send it to the ACO for review and recommendations.

L1:(1) If the request arrives at the contracting office without evidence that the contractor's request, send the determination to the ACO for transmission to the contractor.

L1:(2) Upon making a determination approving or disapproving the Subcontracts.

L1:(A) The clause at DFARS 252.223-7002, Safety Precautions for Ammunition and Explosives, requires the contractor to notify the contracting officer when placing a subcontract for ammunition and explosives. The contracting officer should coordinate with the safety personnel and request supporting contract administration in accordance with FAR 42.202(e). If the contracting officer believes the nature of the subcontract work poses a potential danger to Government property, Government personnel, production capability, or contract completion, request supporting contract administration.

L1:(B) If the preaward safety survey identified areas in which a subcontractor was not complying with the manual, and the subcontractor was supposed to correct the deficiencies before start-up, require a preoperations survey to verify that the subcontractor made the corrections.

L1:(C) When postaward safety reviews by the Government uncover any safety deficiencies in the subcontractor's operation, the review team must inform the ACO cognizant of the subcontractor, who must immediately notify the ACO cognizant of the prime contractor. The ACO cognizant of the prime shall inform the prime contractor of deficiencies requiring correction. The notifications shall be made by the most expeditious means appropriate to the circumstance. If a critical safety deficiency poses an imminent danger, the ACO cognizant of the prime must make the notifications by the most expeditious means available.

L0:PGI 223.4?RESERVED

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 23
L0:Defense FAR Supplement (DFARS) Part 223

L0:PGI 223.73?MINIMIZING THE USE OF MATERIALS CONTAINING HEXAVALENT CHROMIUM

L0:PGI 223.7305 Authorization and approval.

L0:Ensure that the appropriate authorizations from the program executive office are included in the solicitation and contract. Forward proposals submitted by an offeror or requests from a Contractor seeking authorization to use hexavalent chromium in a deliverable item, to the cognizant program executive office for evaluation and, if necessary, authorization by the appropriate official.

PART 25

225.070 Reporting of acquisition of end products manufactured outside the

Status: active

L0:225.070 Reporting of acquisition of end products manufactured outside the

L0:United States.

L0:Follow the procedures at PGI 225.070 for entering the data on the acquisition of end

L0:products manufactured outside the United States.

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

225.101 General

Status: active

L0:225.101 General.

L1:(a) For DoD, the following two-part test determines whether a manufactured end

L0:product is a domestic end product:

L1:(i) The end product is manufactured in the United States; and

L2:(ii)(A) Except for an end product that consists wholly or predominantly of iron

L0:or steel or a combination of both, the cost of its U.S. and qualifying country components

L0:exceeds 60 percent of the cost of all its components, except that the percentage will be

L0:65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for

L0:items delivered starting in calendar year 2029, but see paragraph (d) of this section.

L0:This test is applied to end products only and not to individual components.

L1:(B) For an end product that consists wholly or predominantly of iron or steel

L0:or a combination of both, the cost of iron and steel not produced in the United States or

L0:a qualifying country must constitute less than 5 percent of the cost of all the

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:components used in the end product. The cost of iron and steel not produced in the

L0:United States or a qualifying country includes but is not limited to the cost of iron or

L0:steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings,

L0:not produced in the United States or a qualifying country, utilized in the manufacture

L0:of the end product and a good faith estimate of the cost of all iron or steel components

L0:not produced in the United States or a qualifying country, excluding commercially

L0:available off-the-shelf (COTS) fasteners. The domestic content test of the Buy American

L0:statute has not been waived for acquisitions of COTS items in this category, except for

L0:COTS fasteners.

L1:(c) Additional exceptions that allow the purchase of foreign end products are listed

L0:at 225.103.

L2:(d)(1) In lieu of the threshold increases in FAR 25.101(a)(2)(i), use the domestic content threshold increases in paragraph (a)(ii) of this section. The senior procurement executive may approve application of an alternate domestic content test, under which the domestic content threshold in effect at the time of contract award will apply to the entire period of performance of the contract, following consultation with the Office of Management and Budget's Made in America Office. See PGI 225.101 for guidance on documentation requirements when the senior procurement executive approves application of an alternate domestic content test.

L1:(2) When the senior procurement executive allows for application of an alternate domestic content test for the contract pursuant to FAR 25.101(d)(1) (but see paragraph (d)(1) of this section)?

L1:(A) See 225.601(2)(ii) for use of alternate II of the clause at 252.225-7001, Buy American and Balance of Payments Program;

L1:(B) See 225.601(9) for use of the basic or alternate provision at 252.225-7035, Buy American?Free Trade Agreements?Balance of Payments Program Certificate, or the basic or alternate clause at 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program; and

L1:(C) See 225.601(10)(i) for use of the basic or alternate clause at 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program.

225.103 Exceptions

Status: active

L0:225.103 Exceptions.

L3:(a)(i)(A) 225.872 lists public interest exceptions for certain countries.

L1:(B) For procurements covered by the World Trade Organization

L0:Government Procurement Agreement, the Under Secretary of Defense (Acquisition and Sustainment) has determined that applying the Buy American statute to end products that are substantially transformed in the United States is inconsistent with the public interest.

L2:(ii)(A) Normally, use the evaluation procedures in subpart 225.5, but consider recommending a public interest exception if the purposes of the Buy American statute are not served, or to meet a need set forth in 10 U.S.C. 4861. For example, a public interest exception may be appropriate?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

L1:(1) If accepting the low domestic offer will involve substantial foreign expenditures, or accepting the low foreign offer will involve substantial domestic expenditures;

L0:technology; or

L1:(2) To ensure access to advanced state-of-the-art commercial parts (also see paragraph (b)(iii)(B) of this section)?

L1:(3) To maintain the same source of supply for spare and replacement

L1:(i) For an end item that qualifies as a domestic end product; or
L0:commercial industrial base.

L1:(ii) In order not to impair integration of the military and
L1:(B) Except as provided in PGI 225.872-4, process a determination for a
L0:public interest exception after consideration of the factors in 10 U.S.C. 4861?
L0:below the simplified acquisition threshold;

L1:(1) At a level above the contracting officer for acquisitions valued at or
L0:greater than the simplified acquisition threshold but less than \$2 million; or
L1:(2) By the head of the contracting activity for acquisitions with a value
L1:(3) By the agency head for acquisitions valued at \$2 million or more.

L2:(b)(i) A determination is required that an article, material, or supply is not
L0:reasonably available when?
L1:(A) Domestic offers are insufficient to meet the requirement; and
L1:(B) Award will be made on other than a qualifying country or eligible end
L0:product.

L1:(ii) A determination is not required before January 1, 2030, if an offer is
L0:received for a foreign end product that exceeds 55 percent domestic content. The
L0:determination must be approved?
L1:(A) At a level above the contracting officer for acquisitions valued at or
L0:below the simplified acquisition threshold;
L1:(B) By the chief of the contracting office for acquisitions with a value greater
L0:than the simplified acquisition threshold but less than \$2 million; or
L1:(C) By the head of the contracting activity or immediate deputy for
L0:acquisitions valued at \$2 million or more.

L1:(iii) A separate determination whether an article is reasonably available is not
L0:required for the following articles because DoD has already determined that these
L0:articles are not reasonably available from domestic sources:
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L1:(A) Spare or replacement parts that must be acquired from the original
L0:foreign manufacturer or supplier.
L1:(B) Foreign drugs acquired by the Defense Supply Center, Philadelphia,
L0:when the Director, Pharmaceuticals Group, Directorate of Medical Materiel, determines
L0:that only the requested foreign drug will fulfill the requirements.

L1:(iv) Under coordinated acquisition (see subpart 208.70), the determination is
L0:the responsibility of the requiring department when the requiring department specifies
L0:acquisition of a foreign end product.

L1:(c) The cost of a domestic end product is unreasonable if it is not the low evaluated
L0:offer when evaluated under subpart 225.5.

225.106 Determining reasonableness of cost

Status: active

L0:225.106 Determining reasonableness of cost.

L1:(b) Use an evaluation factor of 50 percent instead of the factors specified in FAR
L0:25.106(b)(1)(i) and (c)(1)(i).

225.170 Acquisition from or through other Government agencies

Status: active

L0:225.170 Acquisition from or through other Government agencies.
L0:Contracting activities must apply the evaluation procedures in subpart 225.5 when
L0:using Federal supply schedules.

225.202 Exceptions

Status: active

L0:225.202 Exceptions.
L2:(a)(2) A nonavailability determination is not required for construction materials
L0:listed in FAR 25.104(a). For other materials, a nonavailability determination must be
L0:approved at the levels specified in 225.103(b)(ii). Use the estimated value of the
L0:construction materials to determine the approval level. A nonavailability
L0:determination is not required before January 1, 2030, if an offer is received for foreign
L0:construction material that exceeds 55 percent domestic content.

225.206 Noncompliance

Status: active

L0:225.206 Noncompliance.
L2:(c)(4) Prepare any report of noncompliance in accordance with the procedures at

209.406-3 or 209.407-3

Status: active

L0:209.406-3 or 209.407-3.

225.270 Energy savings service contracts

Status: active

L0:225.270 Energy savings service contracts.
L0:If construction and construction materials will be used during the performance of a
L0:contract for DoD energy savings service requirements, see PGI 225.270 for additional
L0:guidance.

225.401 Exceptions

L0:225.401 Exceptions.

L3:(a)(2)(A) If a department or agency considers an individual acquisition of a product

L0:to be indispensable for national security or national defense purposes and appropriate

L0:for exclusion from the provisions of FAR subpart 25.4, it may submit a request with

L0:supporting rationale to the Principal Director, Defense Pricing, Contracting, and

L0:Acquisition Policy (DPCAP), Office of the Under Secretary of Defense (Acquisition and

L0:Sustainment) (OUSD(A&S)DPCAP). Approval by OUSD(A&S)DPCAP is not required

L0:if?

L1:(1) Purchase from foreign sources is restricted by statute (see subpart

L0:225.70);

L1:(2) Another exception in FAR 25.401 applies to the acquisition; or

L1:(3) Competition from foreign sources is restricted under subpart 225.71.

L1:(B) [Reserved].

225.401-70 End products subject to trade agreements

Status: active

L0:225.401-70 End products subject to trade agreements.

L0:Acquisitions of end products in the following product service groups (PSGs) are covered

L0:by trade agreements if the value of the acquisition is at or above the applicable trade

L0:agreement threshold and no exception applies. If an end product is not in one of the

L0:listed groups, the trade agreements do not apply. The definition of Caribbean Basin

L0:country end products in FAR 25.003 excludes those end products that are not eligible

L0:for duty-free treatment under 19 U.S.C. 2703(b). Therefore, certain watches, watch

L0:parts, and luggage from certain Caribbean Basin countries are not eligible products.

L0:However, 225.003 expands the definition of Caribbean Basin country end products to

L0:include petroleum and any product derived from petroleum, in accordance with Section

L0:8094 of Pub. L. 103-139.

L0:PSG Category/Description

L0:22 Railway equipment

L0:23 Motor vehicles, trailers, and cycles (except 2305, 2350, and buses under 2310)

L0:24 Tractors

L0:25 Vehicular equipment components

L0:26 Tires and tubes

L0:29 Engine accessories

L0:30 Mechanical power transmission equipment

L0:32 Woodworking machinery and equipment

L0:34 Metalworking machinery

L0:35 Service and trade equipment

L0:36 Special industry machinery (except 3690)

L0:37 Agricultural machinery and equipment

L0:38 Construction, mining, excavating, and highway maintenance equipment

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:PSG Category/Description

L0:39 Materials handling equipment

L0:40 Rope, cable, chain, and fittings

L0:41 Refrigeration, air conditioning, and air circulating equipment

L0:42

L0:Fire fighting, rescue, and safety equipment; and environmental protection

L0:equipment and materials

L0:43 Pumps and compressors

L0:44 Furnace, steam plant, and drying equipment (except 4470)

L0:45 Plumbing, heating, and waste disposal equipment

L0:46 Water purification and sewage treatment equipment

L0:47 Pipe, tubing, hose, and fittings

L0:48 Valves

L0:49

L0:Maintenance and repair shop equipment (except 4920-4927, 4931-4935, 4960,

L0:4970)

L0:53 Hardware and abrasives

L0:54 Prefabricated structures and scaffolding

L0:55 Lumber, millwork, plywood, and veneer

L0:56 Construction and building materials

L0:61 Electric wire, and power and distribution equipment

L0:62 Lighting fixtures and lamps

L0:63 Alarm, signal, and security detection systems

L0:65 Medical, dental, and veterinary equipment and supplies

L0:66

L0:Instruments and laboratory equipment (except aircraft clocks under 6645)?See

L0:FAR 25.003 exclusion of certain watches and watch parts for certain Caribbean

L0:Basin countries

L0:67 Photographic equipment

L0:68 Chemicals and chemical products

L0:69 Training aids and devices

L0:70 Automatic data processing equipment (including firmware), software, supplies

L0:and support equipment

L0:71 Furniture

L0:72 Household and commercial furnishings and appliances

L0:73 Food preparation and serving equipment

L0:74 Office machines, text processing systems and visible record equipment

L0:75 Office supplies and devices

L0:76 Books, maps, and other publications

L0:77 Musical instruments, phonographs, and home-type radios

L0:78 Recreational and athletic equipment

L0:79 Cleaning equipment and supplies

L0:80 Brushes, paints, sealers, and adhesives

L0:81 Containers, packaging, and packing supplies (except 8140)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L0:PSG Category/Description

L0:83

L0:84

L0:Pins, needles, and sewing kits (only part of 8315) and flagstaffs, flagpoles, and
L0:flagstaff trucks (only part of 8345)
L0:Luggage (only 8460)?See FAR 25.003 for exclusion of luggage for Caribbean
L0:Basin countries
L0:85 Toiletries
L0:87 Agricultural supplies
L0:88 Live animals
L0:89 Tobacco products (only 8975)
L0:91 Fuels, lubricants, oils, and waxes
L0:93 Nonmetallic fabricated materials
L0:94 Nonmetallic crude materials
L0:96 Ores, minerals, and their primary products
L0:99 Miscellaneous

225.402 General

Status: active

L0:225.402 General.
L0:To estimate the value of the acquisition, use the total estimated value of end products
L0:covered by trade agreements (see 225.401-70).

225.403 World Trade Organization Government Procurement Agreement and

Status: active

L0:225.403 World Trade Organization Government Procurement Agreement and
L0:Free Trade Agreements.
L1:(c) For acquisitions of supplies covered by the World Trade Organization
L0:Government Procurement Agreement, acquire only U.S.-made, qualifying country, or
L0:designated country end products unless?
L1:(i) The contracting officer determines that offers of U.S.-made, qualifying
L0:country, or designated country end products from responsive, responsible offerors
L0:are either?
L1:(A) Not received; or
L1:(B) Insufficient to fill the Government's requirements. In this case, accept
L0:all responsive, responsible offers of U.S.-made, qualifying country, and eligible products
L0:before accepting any other offers; or
L1:(ii) A national interest waiver under 19 U.S.C. 2512(b)(2) is granted. Such

L0:waivers are on a case-by-case basis. Except as delegated in paragraphs (c)(i)(A) and (B)
L0:of this section, submit any request for a national interest waiver to the Principal
L0:Director, Defense Pricing, Contracting, and Acquisition Policy in accordance with
L0:department or agency procedures. Include supporting rationale with the request.
L1:(A) The head of the contracting activity may approve a national interest
L0:waiver for a purchase by an overseas purchasing activity. A written statement from the
L0:requiring activity that the products being acquired are critical for the support of U.S.
L0:forces stationed abroad must accompany the waiver request.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L1:(B) The Commander or Director, Defense Energy Support Center, may
L0:approve national interest waivers for purchases of fuel for use by U.S. forces overseas.

225.408 Procedures

Status: active

L0:225.408 Procedures.
L2:(a)(4) The requirements of FAR 25.408(a)(4), on submission of offers in U.S. dollars,
L0:do not apply to overseas acquisitions or to Defense Energy Support Center post, camp,
L0:or station overseas requirements.

225.502 Application

Status: active

L0:225.502 Application.
L1:(a) [Reserved]
L1:(b) Use the following procedures instead of the procedures in FAR 25.502(b) for
L0:acquisitions subject to the World Trade Organization Government Procurement
L0:Agreement:
L1:(i) Consider only offers of U.S.-made, qualifying country, or designated country
L0:end products, except as permitted by 225.403.
L1:(ii) If price is the determining factor, award on the low offer.
L1:(c) Use the following procedures instead of those in FAR 25.502(c) for acquisitions
L0:subject to the Buy American statute or the Balance of Payments Program:
L2:(i)(A) If the acquisition is subject only to the Buy American statute or the
L0:Balance of Payments Program, then only qualifying country end products are exempt
L0:from application of the Buy American or Balance of Payments Program evaluation
L0:factor.
L1:(B) If the acquisition is also subject to a Free Trade Agreement, then eligible
L0:products of the applicable Free Trade Agreement country are also exempt from
L0:application of the Buy American or Balance of Payments Program evaluation factor (but
L0:see 225.106).
L1:(ii) If price is the determining factor, use the following procedures:
L1:(A) If the low offer is a domestic offer, award on that offer.

L1:(B) If no domestic offers exist, award on the low offer (see example in PGI

L0:225.504(1)).

L1:(C) If the low offer is a foreign offer that is exempt from application of the

L0:Buy American or Balance of Payments Program evaluation factor, award on that offer.

L0:If the low offer is a qualifying country offer from a country listed at 225.872-1(b),

L0:execute a determination in accordance with 225.872-4. A qualifying country offer is

L0:subject to the domestic content requirement for end products that are wholly or

L0:predominantly of iron or steel or a combination of both.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(D) If the low offer is a foreign offer that is not exempt from application of

L0:the Buy American or Balance of Payments Program evaluation factor, and another

L0:foreign offer is received that is exempt and is lower than the lowest domestic offer,

L0:award on the low foreign offer (see example in PGI 225.504(2)).

L1:(E) Otherwise, apply the 50 percent evaluation factor to the low foreign

L0:offer.

L1:(1) If the price of the low domestic offer is less than the evaluated price

L0:of the low foreign offer, award on the low domestic offer (see example in PGI

L0:225.504(3)).

L0:low domestic offer, award on the low foreign offer (see example in PGI 225.504(4)).

L1:(2) If the evaluated price of the low foreign offer remains less than the

L1:(iii) If price is not the determining factor, use the following procedures:

L1:(A) If domestic offers are received, apply the 50 percent Buy American or

L0:Balance of Payments Program evaluation factor to all foreign offers unless an

L0:exemption applies.

L1:(B) Evaluate in accordance with the criteria of the solicitation.

L1:(C) If these procedures will not result in award on a domestic offer,

L0:reevaluate offers without the 50 percent factor. If this will result in award on an offer to

L0:which the Buy American statute or Balance of Payments Program applies, but

L0:evaluation in accordance with paragraph (c)(ii) of this section would result in award on

L0:a domestic offer, proceed with award only after execution of a determination in

L0:accordance with 225.103(a)(ii)(B) (domestic preference would be inconsistent with the

L0:public interest).

225.503 Group offers

Status: active

L0:225.503 Group offers.

L0:Evaluate group offers in accordance with FAR 25.503, but also apply the evaluation

L0:procedures of 225.502.

225.504 Evaluation examples

Status: active

L0:225.504 Evaluation examples.

L0:For examples that illustrate the evaluation procedures in 225.502(c)(ii), see PGI

L0:225.504.

225.600 Scope of subpart

Status: active

L0:225.600 Scope of subpart.

L0:This subpart prescribes the clauses that implement subparts 225.1 through 225.5 and

225.7 through 225.10. The clauses that implement subparts 225.70 through 225.75 are

Status: active

L0:225.7 through 225.10. The clauses that implement subparts 225.70 through 225.75 are

L0:prescribed within those subparts.

225.601 Acquisition of supplies

Status: active

L0:225.601 Acquisition of supplies.

L1:(1) Insert the provision at 252.225-7000, Buy American?Balance of Payments

L0:Program Certificate, instead of the provision at FAR 52.225-2, Buy American

L0:Certificate, in any solicitation, including solicitations using FAR part 12 procedures for

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:the acquisition of commercial products and commercial services, that includes the basic

L0:or the alternate of the clause at 252.225-7001, Buy American and Balance of Payments

L0:Program.

L2:(2)(i) Insert the basic or the alternate of the clause at 252.225-7001, Buy American

L0:and Balance of Payments Program, instead of the clause at FAR 52.225-1, Buy

L0:American ?Supplies, in solicitations and contracts, including solicitations and

L0:contracts using FAR part 12 procedures for the acquisition of commercial products and

L0:commercial services, unless?

L1:(A) All line items will be acquired from a particular source or sources under

L0:the authority of FAR 6.103-3;

L1:(B) All line items require domestic or qualifying country end products in

L0:accordance with subpart 225.70, but note that this exception does not apply if subpart

225.70 only requires manufacture of the end product in the United States or in the

Status: active

L0:225.70 only requires manufacture of the end product in the United States or in the

L0:United States or Canada, without a corresponding requirement for use of domestic
L0:components;

L1:(C) The acquisition is for supplies for use within the United States and an
L0:exception to the Buy American statute applies, e.g., nonavailability or public interest
L0:(see FAR 25.103 and 225.103);

L1:(D) The acquisition is for supplies for use outside the United States and an
L0:exception to the Balance of Payments Program applies (see 225.7501); or

L1:(E) One or more of the basic or the alternates of the following clauses will
L0:apply to all line items in the contract:

L1:(1) 252.225-7021, Trade Agreements.

L0:Payments Program.

L1:(2) 252.225-7036, Buy American ?Free Trade Agreements?Balance of

L1:(ii) Insert alternate II of the clause in lieu of the basic clause in solicitations and
L0:contracts if an alternate domestic content threshold will apply to the entire period of
L0:performance as approved by the senior procurement executive (see 225.101(d)).

L1:(3) Insert the clause at 252.225-7002, Qualifying Country Sources as

L0:Subcontractors, in solicitations and contracts that include the basic or one of the
L0:alternates of the following clauses:

L1:(i) 252.225-7001, Buy American and Balance of Payments Program.

L1:(ii) 252.225-7021, Trade Agreements.

L1:(iii) 252.225-7036, Buy American ?Free Trade Agreements?Balance of

L0:Payments Program.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(4) Insert the clause at 252.225-7013, Duty-Free Entry, instead of the clause at FAR
L0:52.225-8. Do not use the clause for acquisitions of supplies that will not enter the
L0:customs territory of the United States.

L1:(5) Insert the provision at 252.225-7020, Trade Agreements Certificate, instead of
L0:the provision at FAR 52.225-6, Trade Agreements Certificate, in solicitations, including
L0:solicitations using FAR part 12 procedures for the acquisition of commercial products
L0:and commercial services, that include the clause at 252.225-7021, Trade Agreements.
L0:Do not include the provision if the solicitation includes alternate III of the clause at
L0:252.225-7021. If the solicitation includes the provision at FAR 52.204-7, do not
L0:separately list the provision 252.225-7020 in the solicitation.

L1:(6) Insert the basic or the alternate of the clause at 252.225-7021, Trade
L0:Agreements, instead of the clause at FAR 52.225-5, Trade Agreements, in solicitations
L0:and contracts, including solicitations and contracts using FAR part 12 procedures for
L0:the acquisition of commercial products and commercial services, if the World Trade
L0:Organization Government Procurement Agreement applies, i.e., the acquisition is of
L0:end products listed at 225.401-70, the value of the acquisition equals or exceeds
L0:\$174,000, and none of the exceptions at FAR 25.401(a) applies.

L1:(i) Insert the alternate III clause in lieu of the basic clause in solicitations and
L0:contracts when an alternate domestic content threshold will apply to the entire period
L0:of performance as approved by the senior procurement executive (see 225.101(d)).

L1:(ii) Do not insert the basic or the alternate of the clause if purchase from foreign

L0:sources is restricted, unless the contracting officer anticipates a waiver of the
L0:restriction.

L1:(iii) The acquisition of eligible and noneligible products under the same contract

L0:may result in the application of trade agreements to only some of the items acquired. In

L0:such case, indicate in the Schedule those items covered by the Trade Agreements

L0:clause.

L1:(7) Insert the provision at 252.225-7032, Waiver of United Kingdom Levies?

L0:Evaluation of Offers, in solicitations if a U.K. firm is expected to?

L1:(i) Submit an offer; or

L1:(ii) Receive a subcontract exceeding \$1 million.

L1:(8) Insert the clause at 252.225-7033, Waiver of United Kingdom Levies, in

L0:solicitations and contracts if a U.K. firm is expected to?

L1:(i) Submit an offer; or

L1:(ii) Receive a subcontract exceeding \$1 million.

L1:(9) Insert the basic or an alternate of the provision at 252.225-7035, Buy

L0:American?Free Trade Agreements?Balance of Payments Program Certificate, instead

L0:of the provision at FAR 52.225-4, Buy American?Free Trade Agreements?Israeli

L0:Trade Act Certificate, in solicitations, including solicitations using FAR part 12

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:procedures for the acquisition of commercial products and commercial services, that

L0:include the basic or an alternate of the clause at 252.225-7036, Buy American?Free

L0:Trade Agreements?Balance of Payments Program.

L1:(i) Insert the basic provision in solicitations when the basic or alternate VI of

L0:the clause at 252.225-7036 is used.

L1:(ii) Insert the alternate I provision when the solicitation includes alternate I or

L0:alternate VII of the clause at 252.225-7036.

L1:(iii) Insert the alternate IV provision when the solicitation includes alternate IV

L0:or alternate X of the clause at 252.225-7036.

L2:(10)(i) Except as provided in paragraph (10)(ii) of this section, insert the basic or an

L0:alternate of the clause at 252.225-7036, Buy American?Free Trade Agreements?

L0:Balance of Payments Program, instead of the clause at FAR 52.225-3, Buy American?

L0:Free Trade Agreements?Israeli Trade Act, in solicitations and contracts, including

L0:solicitations and contracts using FAR part 12 procedures for the acquisition of

L0:commercial products and commercial services, for the items listed at 225.401-70, when

L0:the estimated value is less than \$174,000, unless an exception at FAR 25.401 or 225.401

L0:applies.

L1:(A) Insert the basic clause in solicitations and contracts when the estimated

L0:value equals or exceeds \$100,000, but is less than \$174,000.

L1:(B) Insert the alternate I clause in solicitations and contracts when the

L0:estimated value is less than \$102,280.

L1:(C) Insert the alternate IV clause in solicitations and contracts when the

L0:estimated value equals or exceeds \$102,280 but is less than \$174,000.

L1:(D) Insert the alternate VI clause in lieu of the basic clause in solicitations

L0:and contracts, when?

L0:\$174,000; and

L1:(1) The estimated value equals or exceeds \$100,000 but is less than

L0:period of performance as approved by the senior procurement executive (see 225.101(d)).

L1:(2) An alternate domestic content threshold will apply to the entire

L1:(E) Insert the alternate VII clause in lieu of the alternate I clause in

L0:solicitations and contracts when?

L1:(1) The estimated value is less than \$102,280; and

L0:period of performance as approved by the senior procurement executive (see 225.101(d)).

L1:(2) An alternate domestic content threshold will apply to the entire

L1:(F) Insert the alternate X clause in lieu of the alternate IV clause in

L0:solicitations and contracts, when?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:\$174,000; and

L1:(1) The estimated value equals or exceeds \$102,280 but is less than

L0:period of performance as approved by the senior procurement executive (see 225.101(d)).

L1:(2) An alternate domestic content threshold will apply to the entire

L1:(ii) Do not insert the basic or an alternate of the clause in paragraph (10)(i) of

L0:this section if?

L1:(A) Purchase from foreign sources is restricted (see 225.401(a)(2)), unless

L0:the contracting officer anticipates a waiver of the restriction; or

L1:(B) Acquiring information technology that is a commercial product, using

L0:fiscal year 2004 or subsequent funds section 535 of Division F of the Consolidated

L0:Appropriations Act, 2004 (Pub. L. 108-199), and the same provision in subsequent

L0:appropriations acts).

L1:(iii) The acquisition of eligible and noneligible products under the same contract

L0:may result in the application of a Free Trade Agreement to only some of the items

L0:acquired. In such case, indicate in the Schedule those items covered by the Buy

L0:American?Free Trade Agreements?Balance of Payments Program clause.

225.603 Other provisions and clauses

Status: active

L0:225.603 Other provisions and clauses.

L1:(1) Unless the contracting officer knows that the prospective contractor is not a

L0:domestic concern, insert the clause at 252.225-7005, Identification of Expenditures in

L0:the United States, in solicitations and contracts that?

L1:(i) Exceed the simplified acquisition threshold; and

L1:(ii) Are for the acquisition of?

L1:(A) Supplies for use outside the United States;

L1:(B) Construction to be performed outside the United States; or

L1:(C) Services to be performed primarily outside the United States.

L1:(2) Insert the clause at 252.225-7041, Correspondence in English, in solicitations

L0:and contracts when contract performance will be wholly or in part in a foreign country.

L1:(3) Insert the provision at 252.225-7042, Authorization to Perform, in solicitations
L0:when contract performance will be wholly or in part in a foreign country. If the
L0:solicitation includes the provision at FAR 52.204-7, do not separately list the provision

252.225-7042 Authorization to Perform

Status: active

L0:252.225-7042 Authorization to Perform.
L0:As prescribed in 225.603(3), use the following provision:
L0:(End of clause)
L0:AUTHORIZATION TO PERFORM (APR 2003)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L0:The offeror represents that it has been duly authorized to operate and to do business in
L0:the country or countries in which the contract is to be performed.
L0:(End of provision)

225.701 Contractor personnel in a designated operational area or supporting

Status: active

L0:225.701 Contractor personnel in a designated operational area or supporting
L0:a diplomatic or consular mission outside the United States.

225.701-1 Scope

Status: active

L0:225.701-1 Scope.
L1:(a) Performance in a designated operational area, as used in this section, means
L0:performance of a service or construction, as required by the contract. For supply
L0:contracts, the term includes services associated with the acquisition of supplies (e.g.,
L0:installation or maintenance), but does not include production of the supplies or
L0:associated overhead functions.
L1:(c) For DoD, this section also applies to all personal services contracts.

225.701-4 Contract clause

Status: active

L0:225.701-4 Contract clause.
L1:(1) Use the clause at FAR 52.225-19, Contractor Personnel in a Designated
L0:Operational Area or Supporting a Diplomatic or Consular Mission Outside the United
L0:States, in accordance with the prescription at FAR 25.701-4, except that?
L1:(i) Use the clause also in personal services contracts with individuals; and

L1:(ii) Do not use the clause when all contractor personnel performing outside the
L0:United States will be covered by the clause at 252.225-7040.
L1:(2) When using the clause at FAR 52.225-19, inform the contractor that the
L0:Synchronized Predeployment and Operational Tracker (SPOT) is the appropriate
L0:automated system to use for the list of contractor personnel required by paragraph (g) of
L0:the clause. Information on the SPOT system is available at
L0:<https://www.acq.osd.mil/asds/log/cso/ocs/spot.html>.

225.702 Contractors performing private security functions outside the United

Status: active

L0:225.702 Contractors performing private security functions outside the United
L0:States.

225.702-6 Contract clause

Status: active

L0:225.702-6 Contract clause.
L0:Use the clause at 252.225-7039, Defense Contractors Performing Private Security
L0:Functions Outside the United States, instead of FAR clause 52.225-26, Contractors
L0:Performing Private Security Functions Outside the United States, in solicitations and
L0:contracts, including solicitations and contracts using FAR part 12 procedures for the
L0:acquisition of commercial products and commercial services, when private security
L0:functions are to be performed outside the United States in?
L1:(1) Contingency operations;
L1:(2) Combat operations, as designated by the Secretary of Defense;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L1:(3) Other significant military operations (as defined in 32 CFR part 159), designated
L0:by the Secretary of Defense, and only upon agreement of the Secretary of Defense and
L0:the Secretary of State;
L1:(4) Peace operations, consistent with Joint Publication 3-07.3; or
L1:(5) Other military operations or military exercises, when designated by the
L0:Combatant Commander.

225.770 Contracts requiring performance or delivery in a foreign country

Status: active

L0:225.770 Contracts requiring performance or delivery in a foreign country.
L1:(a) If the acquisition requires the performance of services or delivery of supplies in
L0:an area outside the United States, follow the procedures at PGI 225.770(a).
L1:(b) For work performed in Germany, eligibility for logistics support or base
L0:privileges of contractor employees is governed by U.S.-German bilateral agreements.

L1:(c) For work performed in Japan or Korea, see PGI 225.770(c) for information on
L0:bilateral agreements and policy relating to contractor employees in Japan or Korea.
L1:(d) For work performed in the U.S. Central Command area of responsibility, follow
L0:the procedures for theater business clearance/contract administration delegation
L0:instructions at PGI 225.770(d).

225.771 Contractor personnel supporting U.S. Armed Forces deployed outside

Status: active

L0:225.771 Contractor personnel supporting U.S. Armed Forces deployed outside
L0:the United States.
L0:For additional information on contractor personnel supporting U.S. Armed Forces, see
L0:PGI 225.771.

225.771-1 Scope

Status: active

L0:225.771-1 Scope.
L1:(a) This section applies to contracts that involve contractor personnel supporting
L0:U.S. Armed Forces deployed outside the United States in?
L1:(1) Contingency operations;
L1:(2) Humanitarian or peacekeeping operations; or
L1:(3) Other military operations or military exercises, when designated by the
L0:combatant commander.
L1:(b) Any of the types of operations listed in paragraph (a) of this section may include
L0:stability operations such as?
L1:(1) Establishment or maintenance of a safe and secure environment; or
L1:(2) Provision of emergency infrastructure reconstruction, humanitarian relief,
L0:or essential governmental services (until feasible to transition to local government).
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

225.771-2 Definition

Status: active

L0:225.771-2 Definition.
L0:As used in this section?
L0:?'Designated operational area?' means a geographic area designated by the
L0:combatant commander or subordinate joint force commander for the conduct or
L0:support of specified military operations. (See PGI 225.771-2 for additional
L0:information on designated operational areas.)

225.771-3 Government support

Status: active

L0:225.771-3 Government support.

L1:(a) Government support that may be authorized or required for contractor

L0:personnel performing in a designated operational area may include, but is not limited

L0:to, the types of support listed in PGI 225.771-3(a).

L1:(b) The agency must provide logistical or security support only when the

L0:appropriate agency official, in accordance with agency guidance, determines in

L0:coordination with the combatant commander that?

L1:(1) Such Government support is available and is needed to ensure continuation

L0:of essential contractor services; and

L1:(2) The contractor cannot obtain adequate support from other sources at a

L0:reasonable cost.

L1:(c) Specify in the solicitation and contract?

L1:(1) Valid terms, approved by the combatant commander, that specify the

L0:responsible party, if a party other than the combatant commander is responsible for

L0:providing protection to the contractor personnel performing in the designated

L0:operational area; and

L1:(2) Any other Government support to be provided, and whether this support

L0:will be provided on a reimbursable basis, citing the authority for the reimbursement.

L1:(d) Medical support of contractor personnel. Provide direction to the contractor

L0:when the contractor is required to reimburse the Government for medical treatment or

L0:transportation of contractor personnel to a selected civilian facility in accordance with

L0:paragraph (c)(2)(ii) of the clause at 252.225-7040. For additional information, see PGI

L0:225.771-3(d).

L1:(e) Letter of authorization. Contractor personnel must have a Synchronized

L0:Predeployment and Operational Tracker (SPOT)-generated letter of authorization

L1:(LOA) signed by the contracting officer in order to process through a deployment center

L0:or to travel to, from, or within the designated operational area. The LOA also will

L0:identify any additional authorizations, privileges, or Government support that the

L0:contractor personnel are entitled to under the contract. For additional information on

L0:LOAs, see PGI 225.771-3(e).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

225.771-4 Law of war training

Status: active

L0:225.771-4 Law of war training.

L1:(a) Basic training. Basic law of war training is required for all contractor personnel

L0:supporting U.S. Armed Forces deployed outside the United States. The basic training

L0:normally will be provided through a military-run training center. The contracting

L0:officer may authorize the use of an alternate basic training source, provided the

L0:servicing DoD legal advisor concurs with the course content.

L1:(b) Advanced law of war training. (1) The types of personnel that must obtain

L0:advanced law of war training include the following:

L1:(i) Private security contractors.

L1:(ii) Security guards in or near areas of military operations.

L1:(iii) Interrogators, linguists, interpreters, guards, report writers,

L0:information technology technicians, or others who will come into contact with enemy

L0:prisoners of war, civilian internees, retained persons, other detainees, terrorists, or

L0:criminals who are captured, transferred, confined, or detained during or in the

L0:aftermath of hostilities.

L1:(iv) Other personnel when deemed necessary by the contracting officer.

L1:(2) If contractor personnel will be required to obtain advanced law of war

L0:training, the solicitation and contract must specify?

L1:(i) The types of personnel subject to advanced law of war training

L0:requirements;

L1:(ii) Whether the training will be provided by the Government or the

L0:contractor;

L1:(iii) If the training will be provided by the Government, the source of the

L0:training; and

L1:(iv) If the training will be provided by the contractor, a requirement for

L0:coordination of the content with the servicing DoD legal advisor to ensure that training

L0:content is commensurate with the duties and responsibilities of the personnel to be

L0:trained.

225.771-5 Contract clauses

Status: active

L0:225.771-5 Contract clauses.

L0:Unless otherwise stated, the following deviation provisions and clauses remain in effect

L0:until incorporated in the FAR or DFARS or otherwise rescinded:

L0:Use the clause 252.225-7980, Contractor Personnel Performing in the United States

L0:Africa Command Area of Responsibility (DEVIATION 2016-O0008)(JUN 2016), in lieu

L0:of the clause at DFARS 252.225-7040, Contractor Personnel Supporting U.S. Armed

L0:Forces Deployed Outside the United States, in all solicitations and contracts, including

L0:solicitations and contracts using FAR part 12 procedures for the acquisition of

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:commercial items, that will require contractor personnel to perform in the United

L0:States Africa Command (AFRICOM) area of responsibility.

L0:Use the clause 252.225-7995, Contractor Personnel Performing in the United States

L0:Central Command Area of Responsibility (DEVIATION 2017-O0004) (SEP 2017), in

L0:lieu of DFARS 252.225-7040, Contractor Personnel Supporting U.S. Armed Forces

L0:Deployed Outside the United States, in solicitations and contracts that will require

L0:contractor personnel to perform in the United States Central Command area of

L0:responsibility.

L0:See Class Deviation 2017-O0009 (SEP 2017), Products and Services from the African

L0:Host Nation?Djibouti, implementing section 889A of the National Defense

L0:Authorization Act (NDAA) for Fiscal Year (FY) 2017, Enhanced Authority to Acquire

L0:Products and Services Produced in Africa in Support of Certain Activities. Contracting

L0:officers shall use the procedures and clauses provided when acquiring products and

L0:services from the African host nation-Djibouti in support of the covered activities in

L0:Djibouti. This authority is not available for procurement of any product on the Ability

L0:One Procurement List.

L0:Use the provision at 252.225-7985, Preference for Products or Services from the African

L0:Host Nation?Djibouti (SEP 2017) (DEVIATION 2017-O0009), in solicitations that

L0:include the clause at 252.225-7986, Requirement for Products or Services from the

L0:African Host Nation?Djibouti (SEP 2017) (DEVIATION 2017-O0009).

L0:Use the clause at 252.225-7986, Requirement for Products or Services from the African

L0:Host Nation?Djibouti (SEP 2017) (DEVIATION 2017-O0009), in solicitations and

L0:contracts that provide a preference for products or services from the African host

L0:nation?Djibouti in accordance with Class Deviation 2017-O0009.

L0:Use the clause at 252.225-7977, Acquisition Restricted to Products or Services from the

L0:African Host Nation?Djibouti (SEP 2017) (DEVIATION 2017-O0009), in solicitations

L0:and contracts that limit competition to products or services from the African host

L0:nation?Djibouti in accordance with Class Deviation 2017-O0009.

L0:Use the clause at 252.225-7976, Contractor Personnel Performing in Japan

L0:(DEVIATION 2018-O0019) (AUG 2018), in solicitations and contracts, including

L0:solicitations and contracts using FAR part 12 procedures for the acquisition of

L0:commercial items, that will require contractor personnel to perform in Japan. The

L0:clause requires DoD contractors to account for contractor personnel and dependents in

L0:the Synchronized Predeployment and Operational Tracker, in order for the contractor

L0:personnel and dependents to be eligible for coverage under the Status of Forces

L0:Agreement.

L0:Use the clause 252.225-7987, Requirements for Contractor Personnel Performing in the

L0:U.S. Southern Command Area of Responsibility (DEVIATION 2021-O0004) (FEB

L0:2021), in lieu of the clause at DFARS 252.225-7040, Contractor Personnel Supporting

L0:U.S. Armed Forces Deployed Outside the United States, in solicitations and contracts

L0:that require contractor performance in the U.S. Southern Command area of

L0:responsibility.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(a) Use the clause at 252.225-7040, Contractor Personnel Supporting U.S. Armed

L0:Forces Deployed Outside the United States, instead of the clause at FAR 52.225-19,

L0:Contractor Personnel in a Designated Operational Area or Supporting a Diplomatic or

L0:Consular Mission Outside the United States, in solicitations and contracts, including

L0:solicitations and contracts using FAR part 12 procedures for the acquisition of

L0:commercial products and commercial services, for performance in a designated

L0:operational area that authorize contractor personnel (including both contractors

L0:authorized to accompany the Force (CAAF) and non-CAAF) to support U.S. Armed

L0:Forces deployed outside the United States in?

L1:(1) Contingency operations;

L1:(2) Peace operations consistent with Joint Publication 3-07.3; or

L1:(3) Other military operations or military exercises, when designated by the

L0:combatant commander or as directed by the Secretary of Defense.

L1:(b) [Reserved]

225.772 Antiterrorism/force protection

Status: active

L0:225.772 Antiterrorism/force protection.

225.772-1 General

Status: active

L0:225.772-1 General.

L0:Information and guidance pertaining to DoD antiterrorism/force protection policy for

L0:contracts that require performance or travel outside the United States can be obtained

L0:from the offices listed in PGI 225.772-1.

225.772-2 Contract clause

Status: active

L0:225.772-2 Contract clause.

L0:Use the clause at 252.225-7963, Antiterrorism/Force Protection Policy for Defense

L0:Contractors Outside the United States, in solicitations and contracts, including

L0:solicitations and contracts using FAR part 12 procedures for the acquisition of

L0:commercial products and commercial services, that require performance or travel

L0:outside the United States, except for contracts with?

L1:(a) Foreign governments;

L1:(b) Representatives of foreign governments; or

L1:(c) Foreign corporations wholly owned by foreign governments.

225.773 Contract administration in support of contingency operations

Status: active

L0:225.773 Contract administration in support of contingency operations.

L0:For additional guidance on contract administration considerations when supporting

L0:contingency operations, see PGI 225.773.

225.774 Use of electronic business tools

Status: active

L0:225.774 Use of electronic business tools.
L0:See 218.271 concerning the use of electronic business tools in support of a contingency
L0:operation or humanitarian or peacekeeping operation.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

225.802 Procedures

Status: active

L0:225.802 Procedures.
L1:(b) Information on memoranda of understanding and other international
L0:agreements is available at PGI 225.802(b).

225.802-70 Contracts for performance outside the United States and Canada

Status: active

L0:225.802-70 Contracts for performance outside the United States and Canada.
L0:Follow the procedures at PGI 225.802-70 when placing a contract requiring
L0:performance outside the United States and Canada. See also subpart 225.7, Contracts
L0:Performed Outside the United States.

225.802-71 End use certificates

Status: active

L0:225.802-71 End use certificates.
L0:Contracting officers considering the purchase of an item from a foreign source may
L0:encounter a request for the signing of a certificate to indicate that the Armed Forces of
L0:the United States is the end user of the item, and that the U.S. Government will not
L0:transfer the item to third parties without authorization from the Government of the
L0:country selling the item. When encountering this situation, refer to DoD Instruction
L0:2040.03, End Use Certificates, for guidance.

225.870 Contracting with Canadian contractors

Status: active

L0:225.870 Contracting with Canadian contractors.

225.870-1 General

Status: active

L0:225.870-1 General.

L1:(a) The Canadian government guarantees to the U.S. Government all commitments,
L0:obligations, and covenants of the Canadian Commercial Corporation under any contract
L0:or order issued to the Corporation by any contracting office of the U.S. Government.

L0:The Canadian government has waived notice of any change or modification that may be
L0:made, from time to time, in these commitments, obligations, or covenants.

L1:(b) For production planning purposes, Canada is part of the defense industrial base
L0:(see 225.870-2(b)).

L1:(c) The Canadian Commercial Corporation will award and administer contracts
L0:with contractors located in Canada, except for?

L1:(1) Negotiated acquisitions for experimental, developmental, or research work
L0:under projects other than the Defense Development Sharing Program;

L1:(2) Acquisitions of unusual or compelling urgency;

L1:(3) Acquisitions at or below the simplified acquisition threshold; or

L1:(4) Acquisitions made by DoD activities located in Canada.

L1:(d) For additional information on production rights, data, and information; services
L0:provided by Canadian Commercial Corporation; audit; and inspection, see PGI 225.870-
L0:1(d).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

225.870-2 Solicitation of Canadian contractors

Status: active

L0:225.870-2 Solicitation of Canadian contractors.

L1:(a) If requested, furnish a solicitation to the Canadian Commercial Corporation
L0:even if no Canadian firm is solicited.

L1:(b) Handle acquisitions at or below the simplified acquisition threshold directly with
L0:Canadian firms and not through the Canadian Commercial Corporation.

225.870-3 Submission of offers

Status: active

L0:225.870-3 Submission of offers.

L1:(a) As indicated in 225.870-4, the Canadian Commercial Corporation is the prime
L0:contractor. To indicate acceptance of offers by individual Canadian companies, the
L0:Canadian Commercial Corporation issues a letter supporting the Canadian offer and
L0:containing the following information:

L1:(1) Name of the Canadian offeror.

L1:(2) Confirmation and endorsement of the offer in the name of the Canadian
L0:Commercial Corporation.

L1:(3) A statement that the Corporation shall subcontract 100 percent with the
L0:offeror.

L1:(b) When a Canadian offer cannot be processed through the Canadian Commercial

L0:Corporation in time to meet the date for receipt of offers, the Corporation may permit
L0:Canadian firms to submit offers directly. However, the contracting officer must receive
L0:the Canadian Commercial Corporation's endorsement before contract award.
L1:(c) The Canadian Commercial Corporation will submit all sealed bids in terms of
L0:U.S. currency. Do not adjust contracts awarded under sealed bidding for losses or gains
L0:from fluctuation in exchange rates.
L1:(d) Except for sealed bids, the Canadian Commercial Corporation normally will
L0:submit offers and quotations in terms of Canadian currency. The Corporation may, at
L0:the time of submitting an offer, elect to quote and receive payment in terms of U.S.
L0:currency, in which case the contract?
L1:(1) Must provide for payment in U.S. currency; and
L1:(2) Must not be adjusted for losses or gains from fluctuation in exchange rates.

225.870-4 Contracting procedures

Status: active

L0:225.870-4 Contracting procedures.
L1:(a) Except for contracts described in 225.870-1(c)(1) through (4), award individual
L0:contracts covering purchases from suppliers located in Canada to the Canadian
L0:Commercial Corporation, 350 Albert Street, Suite 700, Ottawa, ON K1R 1A4.
L1:(b) Direct communication with the Canadian supplier is authorized and encouraged
L0:in connection with all technical aspects of the contract, provided the Corporation's
L0:approval is obtained on any matters involving changes to the contract.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L1:(c) Requirement for data other than certified cost or pricing data. (1) DoD has
L0:waived the requirement for submission of certified cost or pricing data for the Canadian
L0:Commercial Corporation and its subcontractors.
L1:(2) The Canadian Commercial Corporation is not exempt from the requirement
L0:to submit data other than certified cost or pricing data, as defined in FAR 2.101.
L0:Require the offeror to submit data other than certified cost or pricing data to the extent
L0:necessary to determine a fair and reasonable price.
L1:(i) No further approval is required to request data other than certified cost
L0:or pricing data from the Canadian Commercial Corporation in the following
L0:circumstances:
L1:(A) In a solicitation for a sole source acquisition that is?
L1:(1) Cost-reimbursement, if the contract value is expected to exceed
L0:\$700,000; or
L0:million.
L1:(2) Fixed-price, if the contract value is expected to exceed \$500
L1:(B) If the Canadian Commercial Corporation submits the only offer in
L0:response to a competitive solicitation that meets the thresholds specified in paragraph
L4:(c)(2)(i)(A) of this section.
L0:criteria in paragraph (c)(2)(i)(A) or (B) of this section.

L1:(C) For modifications that exceed \$150,000 in contracts that meet the

L0:pricing data are required from all offerors.

L1:(D) In competitive solicitations in which data other than certified cost or

L1:(ii) In any circumstances other than those specified in paragraph (c)(2)(i) of

L0:this section, require data other than certified cost or pricing data from the Canadian

L0:Commercial Corporation if the head of the contracting activity, or designee no lower

L0:than two levels above the contracting officer, determines that data other than certified

L0:cost or pricing data are needed (or in the case of modifications that it is reasonably

L0:certain that data other than certified cost or pricing data will be needed) in order to

L0:determine that the price is fair and reasonable).

L1:(3) Use the provision at 252.215-7003, Requirement for Submission of Data

L0:Other Than Certified Cost or Pricing Data?Canadian Commercial Corporation, and

L0:the clause at 252.215-7004, Requirement for Submission of Data Other Than Certified

L0:Cost or Pricing Data?Modifications?Canadian Commercial Corporation, as prescribed

L0:at 215.110(2)(i) and (ii), respectively.

L1:(4) Except for contracts described in 225.870-1(c)(1) through (4), Canadian

L0:suppliers will provide required data other than certified cost or pricing data exclusively

L0:through the Canadian Commercial Corporation.

L1:(5) If an offeror does not comply with a requirement to submit data necessary to

L0:determine price reasonableness or cost realism, see FAR 15.403-1(d).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(d) Identify in the contract, the type of currency, i.e., U.S. or Canadian. Contracts

L0:that provide for payment in Canadian currency must?

L1:(1) Quote the contract price in terms of Canadian dollars and identify the

L0:amount by the initials ?CN?, e.g., \$1,647.23CN; and

L1:(2) Clearly indicate on the face of the contract the U.S./Canadian conversion

L0:rate at the time of award and the U.S. dollar equivalent of the Canadian dollar contract

L0:amount.

225.870-5 Contract administration

Status: active

L0:225.870-5 Contract administration.

L0:Follow the contract administration procedures at PGI 225.870-5.

225.870-6 Termination procedures

Status: active

L0:225.870-6 Termination procedures.

L0:When contract termination is necessary, follow the procedures at 249.7000.

225.870-7 Acceptance of Canadian supplies

Status: active

L0:225.870-7 Acceptance of Canadian supplies.

L0:For information on the acceptance of Canadian supplies, see PGI 225.870-7.

225.870-8 Industrial security

Status: active

L0:225.870-8 Industrial security.

L0:Industrial security for Canada must accord with the U.S.-Canada Industrial Security

L0:Agreement of March 31, 1952, as amended.

225.871 North Atlantic Treaty Organization (NATO) cooperative projects

Status: active

L0:225.871 North Atlantic Treaty Organization (NATO) cooperative projects.

225.871-1 Scope

Status: active

L0:225.871-1 Scope.

L0:This section implements 22 U.S.C. 2767 and 10 U.S.C. 2350b.

225.871-2 Definitions

Status: active

L0:225.871-2 Definitions.

L0:As used in this section?

L0:Cooperative project? means a jointly managed arrangement?

L1:(1) Described in a written agreement between the parties;

L1:(2) Undertaken to further the objectives of standardization, rationalization, and

L0:interoperability of the armed forces of NATO member countries; and

L1:(3) Providing for?

L1:(i) One or more of the other participants to share with the United States the

L0:cost of research and development, testing, evaluation, or joint production (including

L0:follow-on support) of certain defense articles;

L1:(ii) Concurrent production in the United States and in another member country

L0:of a defense article jointly developed; or

L1:(iii) Acquisition by the United States of a defense article or defense service from

L0:another member country.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Other participant? means a cooperative project participant other than the United States.

225.871-3 General

Status: active

L0:225.871-3 General.

L1:(a) Cooperative project authority. (1) Departments and agencies possessing the necessary authority may enter into cooperative project agreements with NATO or with one or more member countries of NATO under DoDD 5530.3, International Agreements.

L1:(2) Under laws and regulations governing the negotiation and implementation of cooperative project agreements, departments and agencies may enter into contracts, or incur other obligations, on behalf of other participants without charge to any appropriation or contract authorization.

L1:(3) Agency heads are authorized to solicit and award contracts to implement cooperative projects.

L1:(b) Contracts implementing cooperative projects must comply with all applicable laws relating to Government acquisition, unless a waiver is granted under 225.871-4. A waiver of certain laws and regulations may be obtained if the waiver?

L1:(1) Is required by the terms of a written cooperative project agreement;

L1:(2) Will significantly further NATO standardization, rationalization, and interoperability; and

L1:(3) Is approved by the appropriate DoD official.

225.871-4 is incorporated in a contract or a contract modification, if such information

Status: active

L0:225.871-4 is incorporated in a contract or a contract modification, if such information was not provided in the certification to Congress before finalizing the cooperative agreement.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

225.871-5 Directed subcontracting

Status: active

L0:225.871-5 Directed subcontracting.

L1:(a) The Principal Director, Defense Pricing, Contracting, and Acquisition Policy may authorize the direct placement of subcontracts with particular subcontractors. Directed subcontracting is not authorized unless specifically addressed in the cooperative project agreement.

L1:(b) In some instances, it may not be feasible to name specific subcontractors at the

L0:time the agreement is concluded. However, the agreement must clearly state the
L0:general provisions for work sharing at the prime and subcontract level. For additional
L0:information on cooperative project agreements, see PGI 225.871-5.

225.871-6 Disposal of property

Status: active

L0:225.871-6 Disposal of property.
L0:Dispose of property jointly acquired by the members of a cooperative project under the
L0:procedures established in the agreement or in a manner consistent with the terms of
L0:the agreement, without regard to any laws of the United States applicable to the
L0:disposal of property owned by the United States.

225.871-7 Congressional notification

Status: active

L0:225.871-7 Congressional notification.
L1:(a) Congressional notification is required when DoD makes a determination to
L0:award a contract or subcontract to a particular entity, if the determination was not part
L0:of the certification made under 22 U.S.C. 2767(f) before finalizing the cooperative
L0:agreement.
L1:(1) Departments and agencies must provide a proposed Congressional notice to
L0:the Principal Director, Defense Pricing, Contracting, and Acquisition Policy in sufficient
L0:time to forward to Congress before the time of contract award.
L1:(2) The proposed notice must include the reason using the authority to
L0:designate a particular contractor or subcontractor is necessary.
L1:(b) Congressional notification is also required each time a statutory waiver under

225.872 Contracting with qualifying country sources

Status: active

L0:225.872 Contracting with qualifying country sources.

225.872-1 General

Status: active

L0:225.872-1 General.
L1:(a) As a result of memoranda of understanding and other international agreements,
L0:DoD has determined it inconsistent with the public interest to apply restrictions of the
L0:Buy American statute or the Balance of Payments Program to the acquisition of
L0:qualifying country end products from the following qualifying countries:
L0:Israel

L0:Italy

L0:? Australia

L0:? Belgium

L0:? Canada

L0:? Czech Republic

L0:? Denmark

L0:? Egypt

L0:? Estonia

L0:? Federal Republic of Germany

L0:? Finland

L0:? France

L0:? Greece

L0:?

L0:?

L0:? Japan

L0:? Latvia

L0:? Lithuania

L0:? Luxembourg

L0:? Netherlands

L0:? Norway

L0:? Poland

L0:? Portugal

L0:? Slovenia

L0:? Spain

L0:? Sweden

L0:? Switzerland

L0:? Turkey

L0:? United Kingdom of Great Britain and Northern Ireland.

L1:(b) Individual acquisitions of qualifying country end products or qualifying country

L0:components from the following qualifying country may, on a purchase-by-purchase

L0:basis (see 225.872-4), be exempted from application of the Buy American statute and

L0:the Balance of Payments Program as inconsistent with the public interest:

L0:? Austria.

L1:(c) The determination in paragraph (a) of this subsection does not limit the

L0:authority of the Secretary concerned to restrict acquisitions to domestic sources or reject

L0:an otherwise acceptable offer from a qualifying country source when considered

L0:necessary for national defense reasons.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

225.872-2 Applicability

Status: active

L0:225.872-2 Applicability.

L1:(a) This section applies to all acquisitions of supplies except those restricted by?
L1:(1) U.S. National Disclosure Policy, DoDD 5230.11, Disclosure of Classified
L0:Military Information to Foreign Governments and International Organizations;
L1:(2) U.S. defense mobilization base requirements purchased under the authority
L0:of FAR 6.103-3(b)(1), except for quantities in excess of that required to maintain the
L0:defense mobilization base. This restriction does not apply to Canadian planned
L0:producers.
L1:(i) Review individual solicitations to determine whether this restriction
L0:applies.
L1:(ii) Information concerning restricted items may be obtained from the
L0:Deputy Assistant Secretary of Defense for Industrial Base Policy;
L1:(3) Other U.S. laws or regulations (e.g., the annual DoD appropriations act);
L0:and
L1:(4) U.S. industrial security requirements.
L1:(b) This section does not apply to construction contracts.

225.872-3 Solicitation procedures

Status: active

L0:225.872-3 Solicitation procedures.
L1:(a) Except for items developed under the U.S./Canadian Development Sharing
L0:Program, use the criteria for soliciting and awarding contracts to small business
L0:concerns under FAR Part 19 without regard to whether potential qualifying country
L0:sources exist for the end product. Do not consider an offer of a qualifying country end
L0:product if the solicitation is identified for the exclusive participation of small business
L0:concerns.
L1:(b) Send solicitations directly to qualifying country sources. Solicit Canadian
L0:sources through the Canadian Commercial Corporation in accordance with 225.870.
L1:(c) Use international air mail if solicitation destinations are outside the United
L0:States and security classification permits such use.
L1:(d) If unusual technical or security requirements preclude the acquisition of
L0:otherwise acceptable defense equipment from qualifying country sources, review the
L0:need for such requirements. Do not impose unusual technical or security requirements
L0:solely for the purpose of precluding the acquisition of defense equipment from qualifying
L0:countries.
L1:(e) Do not automatically exclude qualifying country sources from submitting offers
L0:because their supplies have not been tested and evaluated by the department or agency.
L1:(1) Consider the adequacy of qualifying country service testing on a case-by-case
L0:basis. Departments or agencies that must limit solicitations to sources whose items
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L0:have been tested and evaluated by the department or agency must consider supplies
L0:from qualifying country sources that have been tested and accepted by the qualifying
L0:country for service use.

L1:(2) The department or agency may perform a confirmatory test, if necessary.

L1:(3) Apply U.S. test and evaluation standards, policies, and procedures when the

L0:department or agency decides that confirmatory tests of qualifying country end

L0:products are necessary.

L1:(4) If these provisions might adversely delay service programs, obtain the

L0:concurrence of the Under Secretary of Defense (Acquisition and Sustainment), before

L0:excluding the qualifying country source from consideration.

L1:(f) Permit industry representatives from a qualifying country to attend symposia,

L0:program briefings, prebid conferences (see 15.101), and similar meetings that address

L0:U.S. defense equipment needs and requirements. When practical, structure these

L0:meetings to allow attendance by representatives of qualifying country concerns.

225.872-4 Individual determinations

Status: active

L0:225.872-4 Individual determinations.

L0:If the offer of an end product from a qualifying country source listed in 225.872-1(b), as

L0:evaluated, is low or otherwise eligible for award, prepare a determination and findings

L0:exempting the acquisition from the Buy American statute and the Balance of Payments

L0:Program as inconsistent with the public interest, unless another exception such as the

L0:Trade Agreements Act applies. Follow the procedures at PGI 225.872-4.

225.872-5 Contract administration

Status: active

L0:225.872-5 Contract administration.

L1:(a) Arrangements exist with some qualifying countries to provide reciprocal contract

L0:administration services. Some arrangements are at no cost to either government. To

L0:determine whether such an arrangement has been negotiated and what contract

L0:administration functions are covered, contact the Office of the Principal Director,

L0:Defense Pricing, Contracting, and Acquisition Policy (Contract Policy) via email at

L1:(b) Follow the procedures at PGI 225.872-5(b).

L1:(c) Information on quality assurance delegations to foreign governments is in

L0:subpart, Government Contract Quality Assurance.

225.872-6 Request for audit services

Status: active

L0:225.872-6 Request for audit services.

L0:Handle requests for audit services in France, Germany, the Netherlands, or the United

L0:Kingdom in accordance with PGI 215.406, but follow the additional procedures at PGI

L0:225.872-6.

225.872-7 Industrial security for qualifying countries

Status: active

L0:225.872-7 Industrial security for qualifying countries.

L0:The required procedures for safeguarding classified defense information necessary for
L0:the performance of contracts awarded to qualifying country sources are in the National
L0:Industrial Security Program Operating Manual, 32 CFR part 117 (implemented for the
L0:Army by AR 380-49; for the Navy by SECNAV Instruction 5510.1H; for the Air Force by
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L0:AFI 31-601; for the Defense Information Systems Agency by DCA Instruction 240-110-
L0:8; and for the National Imagery and Mapping Agency by NIMA Instruction 5220.22).

225.872-8 Subcontracting with qualifying country sources

Status: active

L0:225.872-8 Subcontracting with qualifying country sources.

L0:In reviewing contractor subcontracting procedures, ensure that the contract does not
L0:preclude qualifying country sources from competing for subcontracts, except when
L0:restricted by national security interest reasons, mobilization base considerations, or
L0:applicable U.S. laws or regulations (see the clause at 252.225-7002, Qualifying Country
L0:Sources as Subcontractors).

225.873 Waiver of United Kingdom commercial exploitation levies

Status: active

L0:225.873 Waiver of United Kingdom commercial exploitation levies.

225.873-1 Policy

Status: active

L0:225.873-1 Policy.

L0:DoD and the Government of the United Kingdom (U.K.) have agreed to waive U.K.
L0:commercial exploitation levies and U.S. nonrecurring cost recoupment charges on a
L0:reciprocal basis. For U.K. levies to be waived, the offeror or contractor must identify the
L0:levies and the contracting officer must request a waiver before award of the contract or
L0:subcontract under which the levies are charged.

225.873-2 Procedures

Status: active

L0:225.873-2 Procedures.

L0:When an offeror or a contractor identifies a levy included in an offered or contract price,

L0:follow the procedures at PGI 225.873-2.

225.900-70 Definition

Status: active

L0:225.900-70 Definition.

L0:As used in this subpart?

L0:?"Component?" means any item supplied to the Government as part of an end product or

L0:of another component.

225.901 Policy

Status: active

L0:225.901 Policy.

L0:Unless the supplies are entitled to duty-free treatment under a special category in the

L0:Harmonized Tariff Schedule of the United States (e.g., the Caribbean Basin Economic

L0:Recovery Act or a Free Trade Agreement), or unless the supplies already have entered

L0:into the customs territory of the United States and the contractor already has paid the

L0:duty, DoD will issue duty-free entry certificates for?

L1:(1) Qualifying country supplies (end products and components);

L1:(2) Eligible products (end products but not components) under contracts covered by

L0:the World Trade Organization Government Procurement Agreement or a Free Trade

L0:Agreement; and

L1:(3) Other foreign supplies for which the contractor estimates that duty will exceed

L0:\$300 per shipment into the customs territory of the United States.

225.902 Procedures

Status: active

L0:225.902 Procedures.

L0:Follow the entry and release procedures at PGI 225.902.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

225.903 Exempted supplies

Status: active

L0:225.903 Exempted supplies.

L2:(b)(i) For an explanation of the term "supplies," see PGI 225.903(b)(i).

L1:(ii) The duty-free certificate must be printed, stamped, or typed on the face of,

L0:or attached to, Customs Form 7501. A duly designated officer or civilian official of the

L0:appropriate department or agency must execute the certificate in the format provided at

L0:PGI 225.903(b)(ii).

225.1070 Clause deviations in overseas contracts

Status: active

L0:225.1070 Clause deviations in overseas contracts.

L0:See 201.305 for approval authority for clause deviations in overseas contracts with

L0:governments of North Atlantic Treaty Organization (NATO) countries or other allies or

L0:with United Nations or NATO organizations.

225.7000 Scope of subpart

Status: active

L0:225.7000 Scope of subpart.

L1:(a) This subpart states restrictions on the acquisition of foreign products and

L0:services, imposed by DoD appropriations and authorization acts and other statutes.

L0:Refer to the acts to verify current applicability of the restrictions.

L1:(b) Nothing in this subpart affects the applicability of the Buy American statute or

L0:the Balance of Payments Program.

225.7001 Definitions

Status: active

L0:225.7001 Definitions.

L0:As used in this subpart?

L0:?'Assembly?' means an item forming a portion of a system or subsystem that?

L1:(1) Can be provisioned and replaced as an entity; and

L1:(2) Incorporates multiple, replaceable parts.

L0:?'Bearing components?' means the bearing element, retainer, inner race, or outer race.

L0:?'Component?' means any item supplied to the Government as part of an end item or of

L0:another component, except that for use in 225.7004-2(b)(6), the term means an article,

L0:material, or supply incorporated directly into an end product.

L0:?'Covered country?' means?

L1:(1) The Democratic People's Republic of North Korea;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) The People's Republic of China;

L1:(3) The Russian Federation; and

L1:(4) The Islamic Republic of Iran (10 U.S.C. 4872 and 4875).

L0:?'End item?', as used in sections 225.7003 and 225.7018, means the final production

L0:product when assembled or completed and ready for delivery under a line item of the

L0:contract (10 U.S.C. 4863(m)).

L0:?'End product?' means supplies delivered under a line item of the contract.

L0: ?Large medium-speed diesel engines? means diesel engines whose revolutions per minute (RPM) fall between 300 and 1500 RPM with a displacement greater than 1500 cubic inches per cylinder.

L0: ?Structural component of a tent??

L1:(1) Means a component that contributes to the form and stability of the tent (e.g., poles, frames, flooring, guy ropes, pegs); and

L1:(2) Does not include equipment such as heating, cooling, or lighting.

L0: ?Subsystem? means a functional grouping of items that combine to perform a major function within an end item, such as electrical power, altitude control, and propulsion.

225.7002 Restrictions on food, clothing, fabrics, hand or measuring tools, and

Status: active

L0:225.7002 Restrictions on food, clothing, fabrics, hand or measuring tools, and flags.

225.7002-1 Restrictions

Status: active

L0:225.7002-1 Restrictions.

L1:(a) The following restrictions implement 10 U.S.C. 4862 (the ?Berry Amendment?).

L0:Except as provided in 225.7002-2, do not acquire?

L1:(1) Any of the following items, either as end products or components, unless the items have been grown, reprocessed, reused, or produced in the United States:

L1:(i) Food.

L1:(ii) Clothing and the materials and components thereof, other than sensors, electronics, or other items added to, and not normally associated with, clothing and the materials and components thereof. Clothing includes items such as outerwear, headwear, underwear, nightwear, footwear, hosiery, handwear, belts, badges, and insignia. For additional guidance and examples, see PGI 225.7002-1(a)(1)(ii).

L2:(iii)(A) Tents and the structural components of tents;

L1:(B) Tarpaulins; or

L1:(C) Covers.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(iv) Cotton and other natural fiber products.

L1:(v) Woven silk or woven silk blends.

L1:(vi) Spun silk yarn for cartridge cloth.

L1:(vii) Synthetic fabric or coated synthetic fabric, including all textile fibers and yarns that are for use in such fabrics.

L1:(viii) Canvas products.

L1:(ix) Wool (whether in the form of fiber or yarn or contained in fabrics, materials, or manufactured articles).

L1:(x) Any item of individual equipment (Product or Service Code (PSC) 8465)

L0:manufactured from or containing any of the fibers, yarns, fabrics, or materials listed in L0:this paragraph (a)(1).

L1:(2) Hand or measuring tools, unless the tools were produced in the United L0:States. For additional guidance, see PGI 225.7002-1(a)(2).

L1:(b) In accordance with section 8123 of the Department of Defense Appropriations L0:Act, 2014 (Pub. L. 113-76, division C, title VIII), and the same provision in subsequent L0:Defense appropriations acts, except as provided in 225.7002-2, do not acquire a flag of L0:the United States (PSC 8345), unless such flag, including the materials and components L0:thereof, is manufactured in the United States, consistent with the requirements at 10 L0:U.S.C. 4862. This restriction does not apply to the acquisition of any end items or L0:components related to flying or displaying the flag (e.g., flag poles and accessories).

225.7002-2 Exceptions

Status: active

L0:225.7002-2 Exceptions.

L0:Acquisitions in the following categories are not subject to the restrictions in 225.7002-1:

L1:(a) Acquisitions not exceeding \$200,000, except for athletic footwear purchased by L0:DoD for use by members of the Army, Navy, Air Force, or Marine Corps upon their L0:initial entry into the Armed Forces (37 U.S.C. 418(b)(4)).

L1:(b) Acquisitions of any of the items in 225.7002-1, if the secretary concerned L0:determines that items grown, reprocessed, reused, or produced in the United States L0:cannot be acquired as and when needed in a satisfactory quality and sufficient quantity L0:at U.S. market prices. (See the requirement in 205.301 for synopsis within 7 days after L0:contract award when using this exception.)

L1:(1) The following officials are authorized, without power of redelegation, to L0:make such a domestic nonavailability determination:

L1:(i) The Under Secretary of Defense (Acquisition and Sustainment).

L1:(ii) The Secretary of the Army.

L1:(iii) The Secretary of the Navy.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(iv) The Secretary of the Air Force.

L1:(v) The Director of the Defense Logistics Agency.

L1:(2) The supporting documentation for the determination must include an L0:analysis and written certification by the requiring activity, with specificity, why L0:alternatives that would not require a domestic nonavailability determination are L0:unacceptable.

L1:(3) Defense agencies other than the Defense Logistics Agency must follow the L0:procedures at PGI 225.7002-2(b)(3) when submitting a request for a domestic L0:nonavailability determination.

L1:(c) Acquisitions of items listed in FAR 25.104(a).

L1:(d) Acquisitions outside the United States in support of combat operations.

L1:(e) Acquisitions of perishable foods by or for activities located outside the United

L0:States for personnel of those activities.

L1:(f) Acquisitions of food or hand or measuring tools?

L1:(1) In support of contingency operations; or

L1:(2) For which the use of other than competitive procedures are approved on the

L0:basis of unusual and compelling urgency in accordance with FAR 6.103-2.

L1:(g) Emergency acquisitions by activities located outside the United States for

L0:personnel of those activities.

L1:(h) Acquisitions by vessels in foreign waters.

L1:(i) Acquisitions of items specifically for commissary resale.

L1:(j) Acquisitions of incidental amounts of cotton, other natural fibers, or wool

L0:incorporated in an end product, for which the estimated value of the cotton, other

L0:natural fibers, or wool?

L1:(1) Is not more than 10 percent of the total price of the end product; and

L1:(2) Does not exceed the threshold at 225.7002-2(a).

L1:(k) Acquisitions of waste and byproducts of cotton or wool fiber for use in the

L0:production of propellants and explosives.

L1:(l) Acquisitions of foods manufactured or processed in the United States, regardless

L0:of where the foods (and any component if applicable) were grown or produced.

L0:However, in accordance with section 8118 of the DoD Appropriations Act for Fiscal Year

L0:2005 (Pub. L. 108-287), this exception does not apply to fish, shellfish, or seafood

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:manufactured or processed in the United States or fish, shellfish, or seafood contained

L0:in foods manufactured or processed in the United States.

L1:(m) Acquisitions of fibers and yarns that are for use in synthetic fabric or coated

L0:synthetic fabric (but not the purchase of the synthetic or coated synthetic fabric itself),

L0:if?

L1:(1) The fabric is to be used as a component of an end product that is not a textile

L0:product. Examples of textile products, made in whole or in part of fabric, include?

L1:(i) Draperies, floor coverings, furnishings, and bedding PSG 72, Household

L0:and Commercial Furnishings and Appliances);

L1:(ii) Items made in whole or in part of fabric in PSG 83,

L0:Textile/leather/furs/apparel/findings/tents/flags, or Federal Supply Group 84, Clothing,

L0:Individual Equipment and Insignia;

L1:(iii) Upholstered seats (whether for household, office, or other use); and

L1:(iv) Parachutes (Product or Service Group (PSG) 1670); or

L1:(2) The fibers and yarns are para-aramid fibers and continuous filament para-

L0:aramid yarns manufactured in a qualifying country.

L1:(n) Acquisitions of chemical warfare protective clothing when the acquisition

L0:further an agreement with a qualifying country. (See 225.003(10) and the requirement

L0:in 205.301 for synopsis within 7 days after contract award when using this exception.)

L1:(o) Acquisitions that are interagency, State, or local purchases that are executed by

L0:DoD as a result of the transfer of contracts from the General Services Administration or

L0:for which DoD serves as an item manager for products on behalf of the General Services

L0:Administration. According to section 897 of the National Defense Authorization Act for

L0:Fiscal Year 2016 (Pub. L. 114-92), such contracts must not be subject to requirements
L0:under subchapter II of chapter 385 (including 10 U.S.C. 4862), to the extent such
L0:contracts are for purchases of products by other Federal agencies or State or local
L0:governments.

225.7002-3 Contract clauses

Status: active

L0:225.7002-3 Contract clauses.
L0:Unless an exception at 225.7002-2 applies?
L1:(a) Insert the clause at 252.225-7012, Preference for Certain Domestic Commodities,
L0:in solicitations and contracts, including solicitations and contracts using FAR part 12
L0:procedures for the acquisition of commercial products and commercial services.
L1:(b) Insert the clause at 252.225-7015, Restriction on Acquisition of Hand or
L0:Measuring Tools, in solicitations and contracts, including solicitations and contracts
L0:using FAR part 12 procedures for the acquisition of commercial products and
L0:commercial services, that exceed the threshold at 225.7002-2(a) that require delivery of
L0:hand or measuring tools.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L1:(c) Insert the clause at 252.225-7006, Acquisition of the American Flag, in
L0:solicitations and contracts, including solicitations and contracts using FAR part 12
L0:procedures for the acquisition of commercial products and commercial services, that are
L0:for the acquisition of the American flag, with an estimated value that exceeds the
L0:threshold at 225.7002-2(a).

225.7003 Restrictions on acquisition of specialty metals

Status: active

L0:225.7003 Restrictions on acquisition of specialty metals.

225.7003-1 Definitions

Status: active

L0:225.7003-1 Definitions.
L0:As used in this section?
L0:Alloy means a metal consisting of a mixture of a basic metallic element and one or
L0:more metallic, or non-metallic, alloying elements.
L1:(1) For alloys named by a single metallic element (e.g., titanium alloy), it means
L0:that the alloy contains 50 percent or more of the named metal (by mass).
L1:(2) If two metals are specified in the name (e.g., nickel-iron alloy), those metals are
L0:the two predominant elements in the alloy, and together they constitute 50 percent or
L0:more of the alloy (by mass).

L0:Automotive item? ?

L1:(1) Means a self-propelled military transport tactical vehicle, primarily intended for use by military personnel or for carrying cargo, such as?

L1:(i) A high-mobility multipurpose wheeled vehicle;

L1:(ii) An armored personnel carrier; or

L1:(iii) A troop/cargo-carrying truckcar, truck, or van; and

L1:(2) Does not include?

L1:(i) A commercially available off-the-shelf vehicle; or

L1:(ii) Construction equipment (such as bulldozers, excavators, lifts, or loaders) or

other self-propelled equipment (such as cranes or aircraft ground support equipment).

L0:Commercial derivative military article? means an item acquired by the Department of Defense that is or will be produced using the same production facilities, a common supply chain, and the same or similar production processes that are used for the production of articles predominantly used by the general public or by nongovernmental entities for purposes other than governmental purposes.

L0:Electronic component? means an item that operates by controlling the flow of electrons or other electrically charged particles in circuits, using interconnections of electrical devices such as resistors, inductors, capacitors, diodes, switches, transistors, or integrated circuits. The term does not include structural or mechanical parts of an assembly containing an electronic component and does not include any high performance magnets that may be used in the electronic component.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:High performance magnet? means a permanent magnet that obtains a majority of its magnetic properties from rare earth metals (such as samarium).

L0:Produce? means?

L1:(1) Atomization;

L1:(2) Sputtering; or

L1:(3) Final consolidation of non-melt derived metal powders.

L0:Specialty metal? means?

L1:(1) Steel?

L1:(i) With a maximum alloy content exceeding one or more of the following limits:

manganese, 1.65 percent; silicon, 0.60 percent; or copper, 0.60 percent; or

L1:(ii) Containing more than 0.25 percent of any of the following elements:

aluminum, chromium, cobalt, molybdenum, nickel, niobium (columbium), titanium, tungsten, or vanadium;

L1:(2) Metal alloys consisting of?

L1:(i) Nickel or iron-nickel alloys that contain a total of alloying metals other than

nickel and iron in excess of 10 percent; or

L1:(ii) Cobalt alloys that contain a total of alloying metals other than cobalt and

iron in excess of 10 percent;

L1:(3) Titanium and titanium alloys; or

L1:(4) Zirconium and zirconium alloys.

L0:Steel? means an iron alloy that includes between .02 and 2 percent carbon and may include other elements.

225.7003-2 because the acquisition is covered by an exception in 225.7003-3(a) or (d)

Status: active

L0:225.7003-2 because the acquisition is covered by an exception in 225.7003-3(a) or (d)

L0:(see paragraph (d) of this section)?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(1) Insert the clause at 252.225-7008, Restriction on Acquisition of Specialty

L0:Metals, in solicitations and contracts, including solicitations and contracts using FAR

L0:part 12 procedures for the acquisition of commercial products and commercial services,

L0:that?

L1:(i) Exceed the simplified acquisition threshold; and

L1:(ii) Require the delivery of specialty metals as end items.

L1:(2) Insert the clause at 252.225-7009, Restriction on Acquisition of Certain

L0:Articles Containing Specialty Metals, in solicitations and contracts, including

L0:solicitations and contracts using FAR part 12 procedures for the acquisition of

L0:commercial products and commercial services, that?

L1:(i) Exceed the simplified acquisition threshold; and

L1:(ii) Require delivery of any of the following items, or components of the

L0:following items, if such items or components contain specialty metal:

L1:(A) Aircraft.

L1:(B) Missile or space systems.

L1:(C) Ships.

L1:(D) Tank or automotive items.

L1:(E) Weapon systems.

L1:(F) Ammunition.

L1:(b) Insert the provision at 252.225-7010, Commercial Derivative Military Article?

L0:Specialty Metals Compliance Certificate, in solicitations, including solicitations using

L0:FAR part 12 procedures for the acquisition of commercial products and commercial

L0:services?

L1:(1) That contain the clause at 252.225-7009; and

L1:(2) For which the contracting officer anticipates that one or more offers of

L0:commercial derivative military articles may be received.

L1:(c) If an agency cannot reasonably determine at time of acquisition whether some or

L0:all of the items will be used in support of combat operations or in support of contingency

L0:operations, the contracting officer should not rely on the exception at 225.7003-3(a)(2) or

L1:(3) but should include the appropriate specialty metals clause or provision in the

L0:solicitation and contract.

L1:(d) If the solicitation and contract require delivery of a variety of contract line items

L0:containing specialty metals, but only some of the items are subject to domestic specialty

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:metals restrictions, identify in the Schedule those items that are subject to the

L0:restrictions.

225.7003-3 Exceptions

L0:225.7003-3 Exceptions.

L1:(a) Acquisitions in the following categories are not subject to the restrictions in

L0:225.7003-2:

L1:(1) Acquisitions at or below the simplified acquisition threshold.

L1:(2) Acquisitions outside the United States in support of combat operations.

L1:(3) Acquisitions in support of contingency operations.

L1:(4) Acquisitions for which the use of other than competitive procedures has been

L0:approved on the basis of unusual and compelling urgency in accordance with FAR

L0:6.103-2.

L1:(5) Acquisitions of items specifically for commissary resale.

L1:(6) Acquisitions of items for test and evaluation under the foreign comparative

L0:testing program (10 U.S.C. 2350a(g)). However, this exception does not apply to any

L0:acquisitions under follow-on production contracts.

L1:(b) One or more of the following exceptions may apply to an end item or component

L0:that includes any of the following, under a prime contract or subcontract at any tier.

L0:The restrictions in 225.7003-2 do not apply to the following:

L1:(1) Electronic components, unless the Secretary of Defense, upon the

L0:recommendation of the Strategic and Critical Materials Board of Directors pursuant to

L0:50 U.S.C. 98h-1, determines that the domestic availability of a particular electronic

L0:component is critical to national security.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L2:(2)(i) Commercially available off-the-shelf (COTS) items containing specialty

L0:metals, except the restrictions do apply to contracts or subcontracts for the acquisition

L0:of?

L1:(A) Specialty metal mill products, such as bar, billet, slab, wire, plate,

L0:and sheet, that have not been incorporated into end items, subsystems, assemblies, or

L0:components. Specialty metal supply contracts issued by COTS producers are not

L0:subcontracts for the purposes of this exception;

L0:castings are incorporated into COTS end items, subsystems, or assemblies;

L1:(B) Forgings or castings of specialty metals, unless the forgings or

L1:(C) Commercially available high performance magnets that contain

L0:specialty metal, unless such high performance magnets are incorporated into COTS end

L0:items or subsystems (see PGI 225.7003-3(b)(6) for a table of applicability of specialty

L0:metals restrictions to magnets); and

L1:(D) COTS fasteners, unless?

L0:subsystems, or assemblies; or

L1:(1) The fasteners are incorporated into COTS end items,

L0:paragraph (b)(3) of this section.

L1:(2) The fasteners qualify for the commercial product exception in

L1:(ii) If this exception is used for an acquisition of COTS end items valued at

L0:\$5 million or more per item, the acquiring department or agency must submit an

L0:annual report to the Principal Director, Defense Pricing, Contracting, and Acquisition

L0:Policy, in accordance with the procedures at PGI 225.7003-3(b)(2).

L1:(3) Fasteners that are commercial products and are acquired under a contract

L0:or subcontract with a manufacturer of such fasteners, if the manufacturer has certified

L0:that it will purchase, during the relevant calendar year, an amount of domestically

L0:melted or produced specialty metal, in the required form, for use in the production of

L0:fasteners for sale to DoD and other customers, that is not less than 50 percent of the

L0:total amount of the specialty metal that the manufacturer will purchase to carry out the

L0:production of such fasteners for all customers.

L1:(4) Items listed in 225.7003-2(a), manufactured in a qualifying country or

L0:containing specialty metals melted or produced in a qualifying country.

L1:(5) Specialty metal in any of the items listed in 225.7003-2 if the USD(A&S), or

L0:an official authorized in accordance with paragraph (b)(5)(i) of this section, determines

L0:that specialty metal melted or produced in the United States cannot be acquired as and

L0:when needed at a fair and reasonable price in a satisfactory quality, a sufficient

L0:quantity, and the required form (i.e., a domestic nonavailability determination). In

L0:accordance with 10 U.S.C. 4863(m)(4), the term "required form" in this section refers to

L0:the form of the mill product, such as bar, billet, wire, slab, plate, or sheet, in the grade

L0:appropriate for the production of a finished end item to be delivered to the Government

L0:under this contract; or a finished component assembled into an end item to be delivered

L0:to the Government under the contract. See guidance in PGI 225.7003-3(b)(5).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(i) The secretary of the military department concerned is authorized,

L0:without power of redelegation, to make a domestic nonavailability determination that

L0:applies to only one contract. The supporting documentation for the determination must

L0:include an analysis and written documentation by the requiring activity, with

L0:specificity, why alternatives that would not require a domestic nonavailability

L0:determination are unacceptable.

L1:(ii) A domestic nonavailability determination that applies to more than one

L0:contract (i.e., a class domestic nonavailability determination), requires the approval of

L0:the USD(A&S).

L1:(A) At least 30 days before making a domestic nonavailability

L0:determination that would apply to more than one contract, the USD(A&S) will, to the

L0:maximum extent practicable, and in a manner consistent with the protection of national

L0:security and confidential business information?

L1:(1) Publish a notice in the Governmentwide point of entry (GPE)

L0:(<https://www.sam.gov>) of the intent to make the domestic nonavailability

L0:determination; and

L0:parties, including producers of specialty metal mill products.

L1:(2) Solicit information relevant to such notice from interested

L1:(B) The USD(A&S)?

L1:(1) Will take into consideration all information submitted in

L0:response to the notice in making a class domestic nonavailability determination;

L1:(2) May consider other relevant information that cannot be made

L0:part of the public record consistent with the protection of national security information

L0:and confidential business information; and

L1:(3) Will ensure that any such domestic nonavailability

L0:determination and the rationale for the determination are made publicly available to

L0:the maximum extent consistent with the protection of national security and confidential

L0:business information.

L1:(6) End items containing a minimal amount of otherwise noncompliant

L0:specialty metals (i.e., specialty metals not melted or produced in the United States that

L0:are not covered by another exception listed in this paragraph (b)), if the total weight of

L0:noncompliant specialty metal does not exceed 2 percent of the total weight of all

L0:specialty metal in the end item. This exception does not apply to high performance

L0:magnets containing specialty metals. See PGI 225.7003-3(b)(6) for a table of

L0:applicability of specialty metals restrictions to magnets.

L1:(c) Compliance for commercial derivative military articles. The restrictions at

L0:225.7003-2(a) do not apply to an item acquired under a prime contract if?

L1:(1) The offeror has certified, and subsequently demonstrates, that the offeror

L0:and its subcontractor(s) will individually or collectively enter into a contractual

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:agreement or agreements to purchase a sufficient quantity of domestically melted or

L0:produced specialty metal in accordance with the provision at 252.225-7010; and

L1:(2) The USD(A&S), or the secretary of the military department concerned,

L0:determines that the item is a commercial derivative military article (defense agencies

L0:see procedures at PGI 225.7003-3(c)). Submit the offeror's certification and a request

L0:for a determination to the appropriate official, through agency channels, and notify the

L0:offeror when a decision has been made.

L1:(d) National security waiver. The USD(A&S) may waive the restrictions at

225.7003-4 [Reserved]

Status: active

L0:225.7003-4 [Reserved]

225.7003-5 Solicitation provision and contract clauses

Status: active

L0:225.7003-5 Solicitation provision and contract clauses.

L1:(a) Unless the acquisition is wholly exempt from the specialty metals restrictions at

225.7004 Restrictions on the procurement of goods other than U.S. goods

Status: active

L0:225.7004 Restrictions on the procurement of goods other than U.S. goods.

225.7004-0 Scope

Status: active

L0:225.7004-0 Scope.

L0:This section implements 10 U.S.C. 4864.

225.7004-1 Definitions

Status: active

L0:225.7004-1 Definitions.

L0:As used in this section?

L0:National technology and industrial base means the persons and organizations that are

L0:engaged in production activities conducted within the United States, Australia, Canada,

L0:New Zealand, and the United Kingdom of Great Britain and Northern Ireland (United

L0:Kingdom). (10 U.S.C. 4801)

L0:Star tracker means a navigational tool used in a satellite weighing more than 400

L0:pounds whose principal purpose is to support the national security, defense, or

L0:intelligence needs of the U.S. Government.

225.7004-2 do not apply to a contract or subcontract that does not exceed the simplified

Status: active

L0:225.7004-2 do not apply to a contract or subcontract that does not exceed the simplified

L0:acquisition threshold.

L1:(b) Buses. The restriction at 225.7004-2(a) does not apply in the following

L0:circumstances:

L1:(1) Buses manufactured outside the national technology and industrial base are

L0:needed for temporary use because buses manufactured in the national technology and

L0:industrial base are not available to satisfy requirements that cannot be postponed.

L0:Such use may not, however, exceed the lead time required for acquisition and delivery

L0:of buses manufactured in the national technology and industrial base.

L1:(2) The requirement for buses is temporary in nature. For example, to meet a

L0:special, nonrecurring requirement or a sporadic and infrequent recurring requirement,

L0:buses manufactured outside the national technology and industrial base may be used

L0:for temporary periods of time. Such use may not however, exceed the period of time

L0:needed to meet the special requirement.

L1:(3) Buses manufactured outside the national technology and industrial base are

L0:available at no cost to the U.S. Government.

L1:(c) Components for naval vessels. The restriction at 225.7004-2(b) does not apply to

L0:acquisition of spare or repair parts needed to support components for naval vessels

L0:manufactured outside the United States. Support includes the purchase of spare

L0:gyrocompasses, electronic navigation chart systems, steering controls, propulsion and

L0:machinery control systems, totally enclosed lifeboats, and welded shipboard anchor and

L0:mooring chain.

L1:(d) Components for auxiliary ships. The restriction at 225.7004-2(c) does not apply
L0:to large medium-speed engines for icebreakers or special mission ships.
L1:(e) Star trackers. The restriction at 225.7004-2(e) does not apply to acquisition
L0:programs that have received Milestone A approval as defined in 10 U.S.C. 4211 before
L0:October 1, 2021, as documented by the requiring activity official performing program
L0:management responsibilities. Include the Milestone A approval documentation in the
L0:contract file.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

225.7004-3 Exceptions

Status: active

L0:225.7004-3 Exceptions.
L1:(a) Contracts under the simplified acquisition threshold. The restrictions at

225.7004-4 Implementation of restriction on certain naval vessel components

Status: active

L0:225.7004-4 Implementation of restriction on certain naval vessel components.
L1:(a) The statute at 10 U.S.C. 4864(h) prohibits the use of contract clauses or
L0:certifications to implement the restriction at 225.7004-2(b) for naval vessel components.
L1:(b) Agencies must accomplish implementation of the restriction at 225.7004-2(b)
L0:through use of management and oversight techniques that achieve the objectives of this
L0:section without imposing a significant management burden on the Government or the
L0:contractor involved.

225.7004-5 Additional restrictions on anchor and mooring chain

Status: active

L0:225.7004-5 Additional restrictions on anchor and mooring chain.
L1:(a) In accordance with section 8041 of the Fiscal Year 1991 DoD Appropriations Act
L0:(Pub. L. 101-511) and similar sections in subsequent DoD appropriations acts, do not
L0:acquire welded shipboard anchor and mooring chain, unless?
L1:(1) It is manufactured in the United States, including cutting, heat treating,
L0:quality control, testing, and welding (both forging and shot blasting process); and
L1:(2) The cost of the components manufactured in the United States exceeds 50
L0:percent of the total cost of components.
L1:(b) The statute at 10 U.S.C. 4864 also restricts acquisition of welded shipboard
L0:anchor and mooring chain, when used as a component of a naval vessel; however, the
L0:Appropriations Act restriction described in paragraph (a) of this section takes
L0:precedence over the restriction of 10 U.S.C. 4864 cited in 225.7004-2(b)(6).

225.7004-6 Waiver of restrictions

Status: active

L0:225.7004-6 Waiver of restrictions.

L1:(a) Welded shipboard anchor and mooring chain. (1) In accordance with section

L0:8016 of the Consolidated Appropriations Act, 2023 (Pub. L. 117-328), the secretary of

L0:the department responsible for acquisition may waive the restrictions in 225.7004-

L0:2(b)(6) and 225.7004-5, on a case-by-case basis, if?

L1:(i) Sufficient domestic suppliers are not available to meet DoD requirements

L0:on a timely basis; and

L1:(ii) The acquisition is necessary to acquire capability for national security

L0:purposes.

L1:(2) Document the waiver in a written determination and findings containing?

L1:(i) The factors supporting the waiver; and

L1:(ii) A certification that the acquisition must be made in order to acquire

L0:capability for national security purposes.

L1:(3) Provide a copy of the determination and findings to the House and Senate

L0:Committees on Appropriations.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(b) Star trackers . The waiver criteria at paragraph (c) of this section apply, except

L0:that the USD(A&S) may delegate the authority to waive a restriction for a star tracker

L0:for a particular foreign country to the service acquisition executive, without power of

L0:redelegation (section 1603, National Defense Authorization Act for Fiscal Year 2021

L0:(Pub. L. 116-283)).

L1:(c) Waiver of restrictions of 10 U.S.C. 4864(a). The restrictions on certain foreign

L0:purchases at 225.7004-2 may be waived, except as provided in paragraphs (a) and (b) of

L0:this section, as follows:

L2:(1)(i) USD(A&S), without power of delegation, may waive a restriction for a

L0:particular item for a particular foreign country upon determination that?

L1:(A) U.S. producers of the item would not be jeopardized by competition

L0:from a foreign country, and that country does not discriminate against defense items

L0:produced in the United States to a greater degree than the United States discriminates

L0:against defense items produced in that country; or

L1:(B) Application of the restriction would impede cooperative programs

L0:entered into between DoD and a foreign country, or would impede the reciprocal

L0:procurement of defense items under a memorandum of understanding providing for

L0:reciprocal procurement of defense items under 225.872, and that country does not

L0:discriminate against defense items produced in the United States to a greater degree

L0:than the United States discriminates against defense items produced in that country.

L1:(ii) A notice of the determination to exercise the waiver authority must be

L0:published in the Federal Register and submitted to the congressional defense

L0:committees at least 15 days before the effective date of the waiver.

L1:(iii) The effective period of the waiver must not exceed 1 year.

L1:(iv) For contracts entered into prior to the effective date of a waiver,

L0:provided adequate consideration is received to modify the contract, the waiver must be
L0:applied as directed or authorized in the waiver to?
L0:waiver; and
L1:(A) Subcontracts entered into on or after the effective date of the
L1:(B) Options for the procurement of items that are exercised after the
L0:the application of the waiver.
L1:(2) The head of the contracting activity may waive a restriction on a case-by-
L0:case basis upon execution of a determination and findings that any of the following
L0:applies:
L1:(i) The restriction would cause unreasonable delays.
L1:(ii) Satisfactory quality items manufactured in the national technology and
L0:industrial base are not available.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L1:(iii) Application of the restriction would result in the existence of only one
L0:source for the item in the national technology and industrial base.
L1:(iv) Application of the restriction is not in the national security interests of
L0:the United States.
L1:(v) Application of the restriction would adversely affect a U.S. company.
L1:(3) A restriction is waived when it would cause unreasonable costs. The cost of
L0:an item of national technology and industrial base origin is unreasonable if it exceeds
L0:150 percent of the offered price, inclusive of duty, of items that are not of national
L0:technology and industrial base origin.

225.7004-7 Contract clauses

Status: active

L0:225.7004-7 Contract clauses.
L1:(a) Unless a waiver has been granted, insert the clause at 252.225-7019, Restriction
L0:on Acquisition of Anchor and Mooring Chain, in solicitations and contracts, including
L0:solicitations and contracts using FAR part 12 procedures for the acquisition of
L0:commercial products and commercial services, that exceed the simplified acquisition
L0:threshold and that require welded shipboard anchor or mooring chain.
L1:(b) Insert the clause at 252.225-7062, Restriction on Acquisition of Large Medium-
L0:Speed Diesel Engines, in solicitations and contracts, including solicitations and
L0:contracts using FAR part 12 procedures for the acquisition of commercial products and
L0:commercial services, that exceed the simplified acquisition threshold and that require
L0:large medium-speed diesel engines for new construction of auxiliary ships using funds
L0:available for National Defense Sealift Fund programs or Shipbuilding and Conversion,
L0:Navy unless?
L1:(1) An exception at 225.7004-3(d) applies; or
L1:(2) A waiver has been granted.
L1:(c) Unless a waiver has been granted, insert the clause at 252.225-7063, Restriction
L0:on Acquisition of Components of T-AO 205 and T-ARC Class Vessels, in solicitations

L0:and contracts, including solicitations and contracts using FAR part 12 procedures for
L0:the acquisition of commercial products and commercial services, that exceed the
L0:simplified acquisition threshold and that require components of T-AO 205 and T-ARC
L0:class vessels.

L1:(d) Insert the clause at 252.225-7064, Restriction on Acquisition of Certain Satellite
L0:Components, in solicitations and contracts, including solicitations and contracts using
L0:FAR part 12 procedures for the acquisition of commercial products and commercial
L0:services, that exceed the simplified acquisition threshold and that include the
L0:acquisition of star trackers unless?

L1:(1) An exception at 225.7004-3(e) applies; or

L1:(2) A waiver has been granted.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:225.7005-225.7008 [Reserved]

225.7009 Restriction on ball and roller bearings

Status: active

L0:225.7009 Restriction on ball and roller bearings.

225.7009-1 Scope

Status: active

L0:225.7009-1 Scope.

L0:This section implements section 8065 of the Fiscal Year 2002 DoD Appropriations Act

L0:(Pub. L. 107-117) and the same restriction in subsequent DoD appropriations acts.

225.7009-2 Restriction

Status: active

L0:225.7009-2 Restriction.

L1:(a) Do not acquire ball and roller bearings unless?

L1:(1) The bearings are manufactured in the United States or Canada; and

L1:(2) For each ball or roller bearing, the cost of the bearing components

L0:manufactured in the United States or Canada exceeds 50 percent of the total cost of the

L0:bearing components of that ball or roller bearing.

L1:(b) The restriction at 225.7003-2 may also apply to bearings that are made from

L0:specialty metals, such as high carbon chrome steel (bearing steel).

225.7009-3 Exception

Status: active

L0:225.7009-3 Exception.

L0:The restriction in 225.7009-2 does not apply to contracts or subcontracts for the
L0:acquisition of commercial products, except for commercial ball and roller bearings
L0:acquired as end items.

225.7009-4 Waiver

Status: active

L0:225.7009-4 Waiver.

L0:The secretary of the department responsible for acquisition or, for the Defense Logistics
L0:Agency, the Component Acquisition Executive, may waive the restriction in 225.7009-2,
L0:on a case-by-case basis, by certifying to the House and Senate Committees on
L0:Appropriations that?
L1:(a) Adequate domestic supplies are not available to meet DoD requirements on a
L0:timely basis; and
L1:(b) The acquisition must be made in order to acquire capability for national security
L0:purposes.

225.7009-5 Contract clause

Status: active

L0:225.7009-5 Contract clause.

L0:Insert the clause at 252.225-7016, Restriction on Acquisition of Ball and Roller
L0:Bearings, in solicitations and contracts, including solicitations and contracts using FAR
L0:part 12 procedures for the acquisition of commercial products and commercial services,
L0:unless?
L1:(a) The items being acquired are commercial products other than ball or roller
L0:bearings acquired as end items;
L1:(b) The items being acquired do not contain ball and roller bearings; or
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L1:(c) A waiver has been granted in accordance with 225.7009-4.

225.7010 [Reserved]

Status: active

L0:225.7010 [Reserved]

225.7011 Restriction on carbon, alloy, and armor steel plate

Status: active

L0:225.7011 Restriction on carbon, alloy, and armor steel plate.

225.7011-1 Restriction

Status: active

L0:225.7011-1 Restriction.

L1:(a) In accordance with Section 8111 of the Fiscal Year 1992 DoD Appropriations Act

L0:(Pub. L. 102-172) and similar sections in subsequent DoD appropriations acts, do not

L0:acquire any of the following types of carbon, alloy, or armor steel plate for use in a

L0:Government-owned facility or a facility under the control of (e.g., leased by) DoD, unless

L0:it is melted and rolled in the United States or Canada:

L1:(1) Carbon, alloy, or armor steel plate in Federal Supply Class 9515.

L1:(2) Carbon, alloy, or armor steel plate described by specifications of the

L0:American Society for Testing Materials or the American Iron and Steel Institute.

L1:(b) This restriction?

L1:(1) Applies to the acquisition of carbon, alloy, or armor steel plate as a finished

L0:steel mill product that may be used ?as is? or may be used as an intermediate material

L0:for the fabrication of an end product; and

L1:(2) Does not apply to the acquisition of an end product (e.g., a machine tool), to

L0:be used in the facility, that contains carbon, alloy, or armor steel plate as a component.

225.7011-2 Waiver

Status: active

L0:225.7011-2 Waiver.

L0:The secretary of the department responsible for acquisition may waive this restriction,

L0:on a case-by-case basis, by certifying to the House and Senate Committees on

L0:Appropriations that?

L1:(a) Adequate U.S. or Canadian supplies are not available to meet DoD requirements

L0:on a timely basis; and

L1:(b) The acquisition must be made in order to acquire capability for national security

L0:purposes.

225.7011-3 Contract clause

Status: active

L0:225.7011-3 Contract clause.

L0:Unless a waiver has been granted, insert the clause at 252.225-7030, Restriction on

L0:Acquisition of Carbon, Alloy, and Armor Steel Plate, in solicitations and contracts that?

L1:(a) Require the delivery to the Government of carbon, alloy, or armor steel plate

L0:that will be used in a Government-owned facility or a facility under the control of DoD;

L0:or

L1:(b) Require contractors operating in a Government-owned facility or a facility under

L0:the control of DoD to purchase carbon, alloy, or armor steel plate.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

225.7012 Restriction on supercomputers

Status: active

L0:225.7012 Restriction on supercomputers.

225.7012-1 Restriction

Status: active

L0:225.7012-1 Restriction.

L0:In accordance with Section 8112 of Public Law 100-202, and similar sections in

L0:subsequent DoD appropriations acts, do not purchase a supercomputer unless it is

L0:manufactured in the United States.

225.7012-2 Waiver

Status: active

L0:225.7012-2 Waiver.

L0:The Secretary of Defense may waive this restriction, on a case-by-case basis, after

L0:certifying to the Armed Services and Appropriations Committees of Congress that?

L1:(a) Adequate U.S. supplies are not available to meet requirements on a timely basis;

L0:and

L1:(b) The acquisition must be made in order to acquire capability for national security

L0:purposes.

225.7012-3 Contract clause

Status: active

L0:225.7012-3 Contract clause.

L0:Unless a waiver has been granted, insert the clause at 252.225-7011, Restriction on

L0:Acquisition of Supercomputers, in solicitations and contracts for the acquisition of

L0:supercomputers.

225.7013 Restrictions on construction or repair of vessels in foreign

Status: active

L0:225.7013 Restrictions on construction or repair of vessels in foreign

L0:shipyards.

225.7013-0 Scope

Status: active

L0:225.7013-0 Scope.

L0:This section implements 10 U.S.C. 8679 and 10 U.S.C. 8680.

225.7013-1 Definitions

Status: active

L0:225.7013-1 Definitions.

L0:As used in this section?

L0:Corrective and preventive maintenance or repair? means?

L1:(1) Maintenance or repair actions performed as a result of a failure in order to

L0:return or restore equipment to acceptable performance levels; and

L1:(2) Scheduled maintenance or repair actions to prevent or discover functional

L0:failures.

L0:Facilities maintenance? means the effort required to?

L1:(1) Provide housekeeping services throughout the ship;

L1:(2) Perform coating maintenance and repair to exterior and interior surfaces due to

L0:normal environmental conditions; and

L1:(3) Clean mechanical spaces, mission zones, and topside spaces.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

225.7013-2 Restrictions

Status: active

L0:225.7013-2 Restrictions.

L1:(a) Contract award (10 U.S.C. 8679). Do not award a contract to construct in a

L0:foreign shipyard?

L1:(1) A vessel for any of the armed forces; or

L1:(2) A major component of the hull or superstructure of a vessel for any of the

L0:armed forces.

L1:(b) Overhaul, repair, or maintenance (10 U.S.C. 8680). (1) Do not overhaul, repair,

L0:or maintain, in a shipyard outside the United States or Guam, a naval vessel (or any

L0:other vessel under the jurisdiction of the Secretary of the Navy) homeported in the

L0:United States or Guam.

L1:(2) This restriction on overhaul, repair, or maintenance does not apply to?

L1:(i) Voyage repairs; or

L1:(ii) Repairs necessary to correct damage sustained due to hostile actions or

L0:interventions.

L1:(3) For a naval vessel classified as a littoral combat ship and operating on

L0:deployment?

L1:(i) Corrective and preventive maintenance or repair, whether intermediate

L0:or depot level, and facilities maintenance may be performed if the work is performed by

L0:U.S. Government personnel or U.S. contractor personnel?

L1:(A) In a foreign shipyard;

L1:(B) At a facility outside of a foreign shipyard; or

L1:(C) At any other facility convenient to the vessel;
L1:(ii) Foreign workers may be used to perform corrective and preventive
L0:maintenance or repair, only if the Secretary of the Navy, without power of delegation,
L0:determines that travel by U.S. Government or contractor personnel to perform the
L0:maintenance or repair is not advisable for health or safety reasons; and
L1:(iii) Foreign contractors may perform facilities maintenance only as approved
L0:by the Secretary of the Navy.

225.7014 Restrictions on military construction

Status: active

L0:225.7014 Restrictions on military construction.
L1:(a) For restriction on award of military construction contracts to be performed in the
L0:United States outlying areas in the Pacific and on Kwajalein Atoll, or in countries
L0:bordering the Arabian Gulf, see 236.273(a).
L1:(b) For restriction on acquisition of steel for use in military construction projects, see
L0:236.274.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

225.7015 Restriction on overseas architect-engineer services

Status: active

L0:225.7015 Restriction on overseas architect-engineer services.
L0:For restriction on award of architect-engineer contracts to be performed in Japan, in
L0:any North Atlantic Treaty Organization member country, or in countries bordering the
L0:Arabian Gulf, see 236.602-70.

225.7017 Utilization of domestic photovoltaic devices

Status: active

L0:225.7017 Utilization of domestic photovoltaic devices.

225.7017-1 Definitions

Status: active

L0:225.7017-1 Definitions.
L0:As used in this section?
L0:Caribbean Basin country photovoltaic device? means a photovoltaic device that?
L1:(1) Is wholly manufactured in a Caribbean Basin country; or
L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials
L0:from another country, has been substantially transformed in a Caribbean Basin country

L0:into a new and different article of commerce with a name, character, or use distinct
L0:from that of the article or articles from which it was transformed, provided that the
L0:photovoltaic device is not subsequently substantially transformed outside of a
L0:Caribbean Basin country.

L0:?"Covered contract?" means an energy savings performance contract, a utility services
L0:contract, or a private housing contract awarded by DoD, to be performed in the United
L0:States, if such contract results in DoD ownership of photovoltaic devices, by means
L0:other than DoD purchase as end products. DoD is deemed to own a photovoltaic device
L0:if the device is?

L1:(1) Installed in the United States on DoD property or in a facility owned by DoD;

L0:and

L1:(2) Reserved for the exclusive use of DoD in the United States for the full economic
L0:life of the device.

L0:?"Designated country photovoltaic device?" means a World Trade Organization
L0:Government Procurement Agreement (WTO GPA) country photovoltaic device, a Free
L0:Trade Agreement country photovoltaic device, a least developed country photovoltaic
L0:device, or a Caribbean Basin country photovoltaic device.

L0:?"Domestic photovoltaic device?" means a photovoltaic device that is manufactured in the
L0:United States.

L0:?"Foreign photovoltaic device?" means a photovoltaic device other than a domestic
L0:photovoltaic device.

L0:?"Free Trade Agreement country photovoltaic device?" means a photovoltaic device that?

L1:(1) Is wholly manufactured in a Free Trade Agreement country; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials
L0:from another country, has been substantially transformed in a Free Trade Agreement
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:country into a new and different article of commerce with a name, character, or use
L0:distinct from that of the article or articles from which it was transformed, provided that
L0:the photovoltaic device is not subsequently substantially transformed outside of a Free
L0:Trade Agreement country.

L0:?"Least developed country photovoltaic device?" means a photovoltaic device that?

L1:(1) Is wholly manufactured in a least developed country; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials
L0:from another country, has been substantially transformed in a least developed country
L0:into a new and different article of commerce with a name, character, or use distinct
L0:from that of the article or articles from which it was transformed, provided that the
L0:photovoltaic device is not subsequently substantially transformed outside of a least
L0:developed country.

L0:?"Photovoltaic device?" means a device that converts light directly into electricity through
L0:a solid-state, semiconductor process.

L0:?"Qualifying country photovoltaic device?" means a photovoltaic device manufactured in a
L0:qualifying country.

L0:?"U.S.-made photovoltaic device?" means a photovoltaic device that?

L1:(1) Is manufactured in the United States; or

L1:(2) Is substantially transformed in the United States into a new and different article
L0:of commerce with a name, character, or use distinct from that of the article or articles
L0:from which it was transformed, provided that the photovoltaic device is not
L0:subsequently substantially transformed outside of the United States.
L0:WTO GPA country photovoltaic device? means a photovoltaic device that?
L1:(1) Is wholly manufactured in a WTO GPA country; or
L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials
L0:from another country, has been substantially transformed in a WTO GPA country into
L0:a new and different article of commerce with a name, character, or use distinct from
L0:that of the article or articles from which it was transformed, provided that the
L0:photovoltaic device is not subsequently substantially transformed outside of a WTO
L0:GPA country.

225.7017-2 Restriction

Status: active

L0:225.7017-2 Restriction.
L0:In accordance with section 846 of the National Defense Authorization Act for Fiscal
L0:Year 2011 (Pub. L. 111-383), photovoltaic devices provided under any covered contract
L0:must comply with 41 U.S.C. chapter 83, Buy American, subject to the exceptions to that
L0:statute provided in the Trade Agreements Act of 1979 (19 U.S.C. 2501 et seq.).
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

225.7017-3 Exceptions

Status: active

L0:225.7017-3 Exceptions.
L0:DoD requires the contractor to utilize domestic photovoltaic devices in covered contracts
L0:that exceed the simplified acquisition threshold, with the following exceptions:
L1:(a) Qualifying country. Qualifying country photovoltaic devices may be utilized in
L0:any covered contract, because 225.103(a)(i)(A) provides an exception to the Buy
L0:American statute for products of qualifying countries, as defined in 225.003.
L1:(b) Buy American?unreasonable cost. For a covered contract that utilizes
L0:photovoltaic devices valued at less than \$174,000, the exception for unreasonable cost
L0:may apply (see FAR 25.103(c)). If the cost of a foreign photovoltaic device plus 50
L0:percent is less than the cost of a domestic photovoltaic device, then the foreign
L0:photovoltaic device may be utilized.
L1:(c) Trade agreements?(1) Free Trade Agreements. For a covered contract that
L0:utilizes photovoltaic devices, photovoltaic devices may be utilized from a country
L0:covered under the acquisition by a Free Trade Agreement, depending upon dollar
L0:threshold (see FAR subpart 25.4).
L1:(2) World Trade Organization?Government Procurement Agreement. For
L0:covered contracts that utilize photovoltaic devices that are valued at \$174,000 or more,

L0:only U.S.-made photovoltaic devices, designated country photovoltaic devices, or
L0:qualifying country photovoltaic devices may be utilized.

225.7017-4 Solicitation provision and contract clause

Status: active

L0:225.7017-4 Solicitation provision and contract clause.

L2:(a)(1) Insert the clause at 252.225-7017, Photovoltaic Devices, in solicitations,

L0:including solicitations using FAR part 12 procedures for the acquisition of commercial

L0:products and commercial services, for a contract expected to exceed the simplified

L0:acquisition threshold that may be a covered contract, e.g., an energy savings

L0:performance contract, a utility service contract, or a private housing contract awarded

L0:by DoD, if such contract will result in DoD ownership of photovoltaic devices, by means

L0:other than DoD purchase as end products.

L1:(2) Insert the clause in the resultant contract, including contracts using FAR

L0:part 12 procedures for the acquisition of commercial products and commercial services,

L0:if it is a covered contract.

L1:(b) Insert the provision at 252.225-7018, Photovoltaic Devices?Certificate, in

L0:solicitations, including solicitations using FAR part 12 procedures for the acquisition of

L0:commercial products and commercial services, that contain the clause at 252.225-7017.

225.7018 Restriction on acquisition of certain magnets, tantalum, and

Status: active

L0:225.7018 Restriction on acquisition of certain magnets, tantalum, and

L0:tungsten.

225.7018-0 Scope

Status: active

L0:225.7018-0 Scope.

L0:This section implements 10 U.S.C. 4872.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

225.7018-1 Definitions

Status: active

L0:225.7018-1 Definitions.

L0:As used in this section?

L0:?Covered material? means?

L1:(1) Samarium-cobalt magnets;

L1:(2) Neodymium-iron-boron magnets;

L1:(3) Tantalum metals and alloys;

L1:(4) Tungsten metal powder; and

L1:(5) Tungsten heavy alloy or any finished or semi-finished component containing

L0:tungsten heavy alloy.

L0:Electronic device? means an item that operates by controlling the flow of electrons or

L0:other electrically charged particles in circuits, using interconnections such as resistors,

L0:inductors, capacitors, diodes, switches, transistors, or integrated circuits.

L0:Tungsten heavy alloy? means a tungsten base pseudo alloy that?

L1:(1) Meets the specifications of ASTM B777 or SAE-AMS-T-21014 for a particular

L0:class of tungsten heavy alloy; or

L1:(2) Contains at least 90 percent tungsten in a matrix of other metals (such as nickel-

L0:iron or nickel-copper) and has density of at least 16.5 g/cm3).

225.7018-2 Restriction

Status: active

L0:225.7018-2 Restriction.

L1:(a) General. Except as provided in 225.7018-3 and 225.7018-4?

L1:(1) Effective through December 31, 2026, do not acquire any covered material

L0:melted or produced in any covered country, or any end item, manufactured in any

L0:covered country, that contains a covered material; and

L1:(2) Effective January 1, 2027, do not acquire any covered material mined,

L0:refined, separated, melted, or produced in any covered country, or any end item,

L0:manufactured in any covered country, that contains a covered material. (Section 854,

L0:Pub. L. 118-31; 10 U.S.C. 4872.)

L1:(b) Samarium-cobalt magnets and neodymium-iron-boron magnets. (1) Effective

L0:through December 31, 2026, for samarium-cobalt magnets and neodymium-iron-boron

L0:magnets, this restriction includes?

L1:(i) Melting samarium with cobalt to produce the samarium-cobalt alloy or

L0:melting neodymium with iron and boron to produce the neodymium-iron-boron alloy;

L0:and

L1:(ii) All subsequent phases of production of the magnets, such as powder

L0:formation, pressing, sintering or bonding, and magnetization.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) Effective January 1, 2027, for samarium-cobalt magnets this restriction

L0:includes the entire supply chain from mining or production of a cobalt and samarium

L0:ore or feedstock, including recycled material, through production of finished magnets,

L0:except as provided at 225.7018-3.

L1:(3) The restriction on melting and producing of samarium-cobalt magnets is in

L0:addition to any applicable restrictions on melting of specialty metals at 225.7003 and

L0:the clause at 252.225-7009, Restriction on Acquisition of Certain Articles Containing

L0:Specialty Metals.

L1:(4) Effective January 1, 2027, for neodymium-iron-boron magnets, this
L0:restriction includes the entire supply chain from mining of neodymium, iron, and boron
L0:through production of finished magnets, except as provided at 225.7018-3.

L1:(c) Tantalum metals and alloys. (1) Effective through December 31, 2026, for
L0:production of tantalum metals of any kind and alloys, this restriction includes the
L0:reduction or melting of any form of tantalum to create tantalum metal including
L0:unwrought, powder, mill products, and alloys. The restriction also covers all
L0:subsequent phases of production of tantalum metals and alloys.

L1:(2) Effective January 1, 2027, for production of tantalum metals of any kind and
L0:alloys, this restriction includes mining or production of a tantalum ore or feedstock,
L0:including recycled material, through production of metals of any kind and alloys, except
L0:as provided at 225.7018-3.

L1:(d) Tungsten metal powder and tungsten heavy alloy. (1) Effective through
L0:December 31, 2026, for production of tungsten metal powder and tungsten heavy alloy,
L0:this restriction includes?

L1:(i) Atomization;

L1:(ii) Calcination and reduction into powder;

L1:(iii) Final consolidation of non-melt derived metal powders; and

L1:(iv) All subsequent phases of production of tungsten metal powder, tungsten
L0:heavy alloy, or any finished or semi-finished component containing tungsten heavy
L0:alloy.

L1:(2) Effective January 1, 2027, for production of tungsten metal powder,
L0:tungsten heavy alloy, or any finished or semi-finished component containing tungsten
L0:heavy alloy, this restriction includes mining or production of a tungsten ore or
L0:feedstock, including recycled material, through production of tungsten metal powders,
L0:except as provided at 225.7018-3.

225.7018-3 Exceptions

Status: active

L0:225.7018-3 Exceptions.

L0:The restriction in section 225.7018-2 does not apply to an acquisition?

L1:(a) At or below the simplified acquisition threshold;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(b) Outside the United States of an item for use outside the United States; or

L1:(c) Of an end item containing a covered material that is?

L1:(1) A commercially available off-the-shelf item (but see PGI 225.7018-3(c)(1)

L0:with regard to commercially available samarium-cobalt magnets), other than?

L1:(i) A commercially available off-the-shelf item that is?

L1:(A) 50 percent or more tungsten by weight effective through December

L0:31, 2026; or

L0:2027;

L1:(B) 50 percent or more covered material by weight effective January 1,

L1:(ii) Effective through December 31, 2026, a tantalum metal, tantalum alloy,
L0:or tungsten heavy alloy mill product, such as bar, billet, slab, wire, cube, sphere, block,
L0:blank, plate, or sheet, that has not been incorporated into an end item, subsystem,
L0:assembly, or component; or

L1:(iii) Effective January 1, 2027, a covered material that is a mill product such
L0:as bar, billet, slab, wire, cube, sphere, block, blank, plate, or sheet, that has not been
L0:incorporated into an end item, subsystem, assembly, or component;

L1:(2) An electronic device, unless the Secretary of Defense, upon the
L0:recommendation of the Strategic and Critical Materials Board of Directors pursuant to
L0:50 U.S.C. 98h-1 determines that the domestic availability of a particular electronic
L0:device is critical to national security (but see PGI 225.7018-3(c)(2) with regard to
L0:samarium-cobalt magnets used in electronic components); or

L1:(3) A neodymium-iron-boron magnet manufactured from recycled material if
L0:the milling of the recycled material and sintering of the final magnet takes place in the
L0:United States.

L1:(d) If the authorized agency official concerned, as specified in 225.7018-4,
L0:determines that compliant covered materials of satisfactory quality and quantity, in the
L0:required form, cannot be procured as and when needed at a reasonable price.

L1:(1) For tantalum metal, tantalum alloy, or tungsten heavy alloy, the term
L0:required form refers to the form of the mill product, such as bar, billet, wire, slab,
L0:plate, or sheet, in the grade appropriate for the production of a finished end item to be
L0:delivered to the Government under the contract; or a finished component assembled
L0:into an end item to be delivered to the Government under the contract.

L1:(2) For samarium-cobalt magnets or neodymium-iron-boron magnets, the term
L0:required form refers to the form and properties of the magnets.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

225.7018-4 Nonavailability determination

Status: active

L0:225.7018-4 Nonavailability determination.

L1:(a) Individual nonavailability determinations. (1) The head of the contracting
L0:activity is authorized to make a nonavailability determination described in 225.7018-
L0:3(d) on an individual basis (e.g., applies to only one contract).

L1:(2) The supporting documentation for the determination must include an
L0:analysis and written certification by the requiring activity that describes, with
L0:specificity, why alternatives that would not require a nonavailability determination are
L0:unacceptable. The template for an individual nonavailability determination is available
L0:at PGI 225.7018-4(a)(2).

L1:(3) Provide to USD(A&S) DASD (Industrial Policy), in accordance with the
L0:procedures at PGI 225.7018-4(a)(3)?

L1:(i) A copy of individual nonavailability determinations with supporting
L0:documentation; and

L1:(ii) Notification when individual nonavailability determinations are requested but denied.

L1:(b) Class nonavailability determinations. A class nonavailability determination L0:(e.g., a nonavailability determinations that applies to more than one contract) requires L0:the approval of the USD(A&S). Follow the procedures at PGI 225.7018-4(b) when L0:submitting a request for a class nonavailability determination.

L1:(1) At least 30 days before making a nonavailability determination that would L0:apply to more than one contract, the USD(A&S) will, to the maximum extent L0:practicable, and in a manner consistent with the protection of national security and L0:confidential business information?

L1:(i) Publish a notice in the GPE (<https://www.sam.gov>) of the intent to make L0:the nonavailability determination; and

L1:(ii) Solicit information relevant to such notice from interested parties, L0:including producers of mill products from covered materials.

L1:(2) The USD(A&S)?

L1:(i) Will take into consideration all information submitted in response to the L0:notice in making a class nonavailability determination;

L1:(ii) May consider other relevant information that cannot be made part of the L0:public record consistent with the protection of national security information and L0:confidential business information; and

L1:(iii) Will ensure that any such nonavailability determination and the L0:rationale for the determination are made publicly available to the maximum extent L0:consistent with the protection of national security and confidential business L0:information.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

225.7018-5 Contract clause

Status: active

L0:225.7018-5 Contract clause.

L0:Unless acquiring items outside the United States for use outside the United States or a L0:nonavailability determination has been made in accordance with 225.7018-4, insert the L0:clause at 252.225-7052, Restriction on Acquisition of Certain Magnets, Tantalum, and L0:Tungsten , in solicitations and contracts, including solicitations and contracts using L0:FAR part 12 procedures for the acquisition of commercial products and commercial L0:services, that exceed the simplified acquisition threshold.

225.7019 Prohibition on use of certain energy sourced from inside the

Status: active

L0:225.7019 Prohibition on use of certain energy sourced from inside the L0:Russian Federation.

225.7019-1 Definitions

Status: active

L0:225.7019-1 Definitions.

L0:As used in this section?

L0:Covered military installation? means a military installation in Europe identified by

L0:DoD as a main operating base.

L0:Furnished energy? means energy furnished to a covered military installation in any

L0:form and for any purpose, including heating, cooling, and electricity.

L0:Main operating base? means a facility outside the United States and its territories with

L0:permanently stationed operating forces and robust infrastructure.

225.7019-2 Prohibition

Status: active

L0:225.7019-2 Prohibition.

L0:In accordance with section 2821 of the National Defense Authorization Act for Fiscal

L0:Year 2020 (Pub. L. 116-92), contracts for the acquisition of furnished energy for a

L0:covered military installation must not use any energy sourced from inside the Russian

L0:Federation as a means of generating the furnished energy for the covered military

L0:installation. The prohibition?

L1:(a) Applies to all forms of energy that are furnished to a covered military

L0:installation; and

L1:(b) Does not apply to energy converted by a third party into another form of energy

L0:and not directly delivered to a covered military installation.

225.7019-3 Waiver

Status: active

L0:225.7019-3 Waiver.

L1:(a) Request and approval of waiver. The requiring activity may submit to the

L0:contracting activity a request for waiver of the prohibition in 225.7019-2 for a specific

L0:contract for the acquisition of furnished energy for a covered military installation. The

L0:head of the contracting activity, without power of redelegation, may approve the waiver,

L0:upon certification to the congressional defense committees that?

L1:(1) The waiver of section 2821 is necessary to ensure an adequate supply of

L0:furnished energy for the covered military installation; and

L1:(2) National security requirements have been balanced against the potential

L0:risk associated with reliance upon the Russian Federation for furnished energy.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(b) Submission of waiver notice. (1) Not later than 14 days before the execution of

L0:any energy contract for which a waiver is granted under paragraph (a) of this section,

L0:the head of the contracting activity must submit to the congressional defense

L0:committees a notice of the waiver. See PGI 225.7019-3 for waiver procedures.

L1:(2) The waiver notice must include the following:

L1:(i) The rationale for the waiver, including the basis for the certifications

L0:required by paragraph (a) of this section.

L1:(ii) An assessment of how the waiver may impact DoD's European energy

L0:resilience strategy.

L1:(iii) An explanation of the measures DoD is taking to mitigate the risk of

L0:using Russian Federation furnished energy.

225.7019-4 Solicitation provision and contract clause

Status: active

L0:225.7019-4 Solicitation provision and contract clause.

L0:Unless a waiver has been granted in accordance with 225.7019-3?

L1:(a) Insert the provision at 252.225-7053, Representation Regarding Prohibition on

L0:Use of Certain Energy Sourced from Inside the Russian Federation, in solicitations,

L0:including solicitations using FAR part 12 procedures for the acquisition of commercial

L0:products and commercial services and solicitations at or below the simplified acquisition

L0:threshold, that are for the acquisition of furnished energy for a covered military

L0:installation; and

L1:(b) Insert the clause at 252.225-7054, Prohibition on Use of Certain Energy Sourced

L0:from Inside the Russian Federation, in solicitations and contracts, including

L0:solicitations and contracts using FAR part 12 procedures for the acquisition of

L0:commercial products and commercial services and solicitations and contracts at or

L0:below the simplified acquisition threshold, that are for the acquisition of furnished

L0:energy for a covered military installation.

225.7020 Prohibition on contracting with the Maduro regime

Status: active

L0:225.7020 Prohibition on contracting with the Maduro regime.

225.7020-1 Definitions

Status: active

L0:225.7020-1 Definitions.

L0:As used in this section?

L0:Agency or instrumentality of the government of Venezuela? means an agency or

L0:instrumentality of a foreign state as defined in 28 U.S.C. 1603(b), with each reference in

L0:section 1603(b) to a foreign state deemed to be a reference to Venezuela.

L0:Business operations? means engaging in commerce in any form, including acquiring,

L0:developing, maintaining, owning, selling, possessing, leasing, or operating equipment,

L0:facilities, personnel, products, services, personal property, real property, or any other

L0:apparatus of business or commerce.

L0:Government of Venezuela? means the government of any political subdivision of

L0:Venezuela, and any agency or instrumentality of the government of Venezuela.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Person? means?

L1:(1) A natural person, corporation, company, business association, partnership,

L0:society, trust, or any other nongovernmental entity, organization, or group;

L1:(2) Any governmental entity or instrumentality of a government, including a

L0:multilateral development institution (as defined in section 1701(c)(3) of the

L0:International Financial Institutions Act (22 U.S.C. 262r(c)(3)); and

L1:(3) Any successor, subunit, parent entity, or subsidiary of, or any entity under

L0:common ownership or control with, any entity described in paragraph (1) or (2) of this

L0:definition.

225.7020-2 Prohibition

Status: active

L0:225.7020-2 Prohibition.

L0:In accordance with section 890 of the National Defense Authorization Act for Fiscal

L0:Year 2020 (Pub. L. 116-92), do not enter into a contract for the procurement of products

L0:or services with any person that has business operations with an authority of the

L0:government of Venezuela that is not recognized as the legitimate government of

L0:Venezuela by the U.S. Government, except as provided in 225.7020-3 or 225.7020-4.

225.7020-3 Exceptions

Status: active

L0:225.7020-3 Exceptions.

L0:The prohibition in 225.7020-2 does not apply if?

L1:(a) The person has a valid license to operate in Venezuela issued by the Office of

L0:Foreign Assets Control of the Department of the Treasury; or

L1:(b) The acquisition is related to the operation and maintenance of the U.S.

L0:Government's consular office and diplomatic posts in Venezuela.

225.7020-4 Joint determination

Status: active

L0:225.7020-4 Joint determination.

L1:(a) The prohibition in section 225.7020-2 does not apply to an acquisition jointly

L0:determined by the Secretary of Defense and Secretary of State, without power of

L0:redlegation, to be?

L1:(1) Necessary for purposes of?

L1:(i) Providing humanitarian assistance to the people of Venezuela;
L1:(ii) Disaster relief and other urgent lifesaving measures; or
L1:(iii) Carrying out noncombatant evacuations; or
L1:(2) Vital to the national security interests of the United States.
L1:(b) Follow the procedures at PGI 225.7020-4(b) when entering into a contract on the
L0:basis of a joint determination.

225.7020-5 Solicitation provision and contract clause

Status: active

L0:225.7020-5 Solicitation provision and contract clause.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L1:(a) Insert the provision at 252.225-7055, Representation Regarding Business
L0:Operations with the Maduro Regime, in solicitations, including solicitations using FAR
L0:part 12 procedures for the acquisition of commercial products and commercial services,
L0:that include the clause at 252.225-7056, Prohibition Regarding Business Operations
L0:with the Maduro Regime.
L1:(b) Unless the exception at 225.7020-3(b) applies or a joint determination has been
L0:made in accordance with 225.7020-4, insert the clause at 252.225-7056, Prohibition
L0:Regarding Business Operations with the Maduro Regime, in solicitations and contracts,
L0:including solicitations and contracts using FAR part 12 procedures for the acquisition of
L0:commercial products and commercial services.

225.7021 Disclosure requirements for employment transparency regarding

Status: active

L0:225.7021 Disclosure requirements for employment transparency regarding
L0:individuals who perform work in the People's Republic of China.
L0:See PGI 225.7021 for additional procedures regarding disclosures.

225.7021-1 Definitions

Status: active

L0:225.7021-1 Definitions.
L0:As used in this section?
L0:?"Covered contract?" means any DoD contract or subcontract with a value in excess of \$5
L0:million, not including contracts for commercial products and commercial services.
L0:?"Covered entity?" means any corporation, company, limited liability company, limited
L0:partnership, business trust, business association, or other similar entity, including any
L0:subsidiary thereof, performing work on a covered contract in the People's Republic of
L0:China, including by leasing or owning real property used in the performance of the
L0:covered contract in the People's Republic of China.

225.7021-2 if the SPE determines in writing that such disclosure would not be in the

Status: active

L0:225.7021-2 if the SPE determines in writing that such disclosure would not be in the
L0:national security interests of the United States. This authority is not delegable. See
L0:PGI 225.7021-3 for procedures and content requirements regarding the SPE's written
L0:determination.

225.7021-3 National security waiver of disclosure

Status: active

L0:225.7021-3 National security waiver of disclosure.
L0:The senior procurement executive (SPE) may waive the disclosure requirements at

225.7021-4 Solicitation provision and contract clause

Status: active

L0:225.7021-4 Solicitation provision and contract clause.
L1:(a) Insert the provision at 252.225-7057, Preaward Disclosure of Employment of
L0:Individuals Who Work in the People's Republic of China, in solicitations that include
L0:the clause at 252.225-7058.
L1:(b) Unless a waiver has been granted, insert the clause at 252.225-7058, Postaward
L0:Disclosure of Employment of Individuals Who Work in the People's Republic of China,
L0:in solicitations and contracts with an estimated value in excess of \$5 million.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

225.7022 Prohibition on certain procurements from the Xinjiang Uyghur

Status: active

L0:225.7022 Prohibition on certain procurements from the Xinjiang Uyghur
L0:Autonomous Region.

225.7022-1 Scope

Status: active

L0:225.7022-1 Scope.
L0:This section implements section 855 of the National Defense Authorization Act for
L0:Fiscal Year 2023 (Pub. L. 117-263) and 10 U.S.C. 4661.

225.7022-2 Definitions

Status: active

L0:225.7022-2 Definitions.

L0:As used in this section?

L0:?"Forced labor?" means any work or service that is exacted from any person under the

L0:menace of any penalty for nonperformance and that the worker does not offer to

L0:perform (10 U.S.C. 2496).

L0:?"XUAR?" means the Xinjiang Uyghur Autonomous Region of the People?s Republic of

L0:China (10 U.S.C. 2496).

225.7022-3 Prohibition

Status: active

L0:225.7022-3 Prohibition.

L0:Do not award a contract utilizing funds appropriated or otherwise made available for

L0:any fiscal year for any products mined, produced, or manufactured wholly or in part by

L0:forced labor from XUAR or from an entity that has used labor from within or

L0:transferred from XUAR as part of any forced labor programs, unless an exception

L0:applies.

225.7022-4 Exceptions

Status: active

L0:225.7022-4 Exceptions.

L0:The prohibition at 225.7022-3 does not apply to?

L1:(a) Purchases under the micro-purchase threshold made using the Governmentwide

L0:commercial purchase card; or

L1:(b) Purchases using the SF 44 in accordance with 213.306.

225.7022-5 Solicitation provision and contract clause

Status: active

L0:225.7022-5 Solicitation provision and contract clause.

L1:(a) Insert the provision at 252.225-7059, Prohibition on Certain Procurements from

L0:the Xinjiang Uyghur Autonomous Region?Representation, in solicitations, including

L0:solicitations using FAR part 12 procedures for the acquisition of commercial products,

L0:commercial services, and COTS items, that contain the clause at 252.225-7060,

L0:Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region.

L1:(b) Insert the clause at 252.225-7060, Prohibition on Certain Procurements from the

L0:Xinjiang Uyghur Autonomous Region, in solicitations, contracts, and orders for products

L0:utilizing funds appropriated or otherwise made available for any fiscal year, including

L0:solicitations and contracts using FAR part 12 procedures for the acquisition of

L0:commercial products, commercial services, and COTS items.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

225.7023 Restriction on acquisition of personal protective equipment and

Status: active

L0:225.7023 Restriction on acquisition of personal protective equipment and
L0:certain other items from non-allied foreign nations.

225.7023-1 Definitions

Status: active

L0:225.7023-1 Definitions.

L0:As used in this section?

L0:Covered item? means an article or item of?

L1:(1) Personal protective equipment for use in preventing spread of disease, such as

L0:by exposure to infected individuals or contamination or infection by infectious material,

L0:including?

L1:(i) Nitrile and vinyl gloves;

L1:(ii) Surgical masks;

L1:(iii) Respirator masks and powered air purifying respirators and required

L0:filters;

L1:(iv) Face shields and protective eyewear;

L1:(v) Surgical and isolation gowns and head and foot coverings; or

L1:(vi) Clothing; and

L1:(vii) The materials and components thereof, other than sensors, electronics, or

L0:other items added to and not normally associated with such personal protective

L0:equipment or clothing; or

L1:(2) Sanitizing and disinfecting wipes, testing swabs, gauze, and bandages.

225.7023-2 Restriction

Status: active

L0:225.7023-2 Restriction.

L0:Except as provided in 225.7023-3, do not acquire a covered item from a covered country

L0:in accordance with 10 U.S.C. 4875.

225.7023-3 Exceptions

Status: active

L0:225.7023-3 Exceptions.

L0:The restriction in section 225.7023-2 does not apply to acquisitions?

L1:(a) Of covered items for use outside of the United States;

L1:(b) At or below \$200,000; or

L2:(c)(1) If the head of the contracting activity determines that a covered item of

L0:satisfactory quality and quantity, in the required form, cannot be procured as and when

L0:needed from nations other than a covered country to meet requirements at a reasonable
L0:price.

L1:(2) Include a copy of any such determination in the contract file.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

225.7023-4 Contract clause

Status: active

L0:225.7023-4 Contract clause.

L0:Unless an exception applies, use the clause at 252.225-7061, Restriction on the

L0:Acquisition of Personal Protective Equipment and Certain Other Items from Non-Allied

L0:Foreign Nations, in solicitations and contracts, including solicitations and contracts

L0:using FAR part 12 procedures for the acquisition of commercial products, including

L0:COTS items, and commercial services, and that?

L1:(a) Are for the acquisition of covered items;

L1:(b) Are for use within the United States; and

L1:(c) Have an estimated value greater than \$200,000.

225.7024 Restriction on acquisition of fuel for overseas contingency

Status: active

L0:225.7024 Restriction on acquisition of fuel for overseas contingency

L0:operations.

225.7024-1 Scope

Status: active

L0:225.7024-1 Scope.

L0:This section implements section 843 of the National Defense Authorization Act for

L0:Fiscal Year 2022 (Pub. L. 117-81), for the acquisition of fuel for overseas contingency

L0:operations.

225.7024-2 Prohibition

Status: active

L0:225.7024-2 Prohibition.

L0:Do not award, for an overseas contingency operation, a contract for fuel, in whole or in

L0:part, or derivatives of such fuel, that is sourced from nations or regions prohibited from

L0:selling petroleum to the United States. See FAR subpart 40.2 and the Office of Foreign

L0:Assets Control website at <https://ofac.treasury.gov/sanctions-programs-and-country->

L0:information for prohibited sources.

225.7024-3 Procedures

Status: active

L0:225.7024-3 Procedures.

L1:(a) For contracts for the acquisition of fuel for overseas contingency operations,
L0:including contracts using FAR part 12 procedures, expected to exceed the simplified
L0:acquisition threshold, the contracting officer?

L1:(1) May request records from the prospective contractor to verify compliance
L0:with the following statutes and regulations only when the head of the contracting
L0:activity determines in writing that the request is necessary:

L1:(i) The Foreign Corrupt Practices Act (15 U.S.C. 78dd-1 et seq.).

L1:(ii) International Traffic in Arms Regulations at 22 CFR parts 120 through
L0:130 (see PGI 225.7901-2).

L1:(iii) Export Administration Regulations at 15 CFR parts 730 through 774
L0:(see PGI 225.7901-2).

L1:(iv) Relevant regulations promulgated by the Office of Foreign Assets
L0:Control of the Department of the Treasury. Sanction information for specific countries
L0:and programs is available at [https://ofac.treasury.gov/sanctions-programs-and-](https://ofac.treasury.gov/sanctions-programs-and-country-information)
L0:country-information.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) To the maximum extent practicable, must not disqualify an otherwise
L0:responsible offeror on the basis of an unsupported denial of access to a facility or
L0:equipment by a host-nation government. The provision at 252.225-7964, Restriction on
L0:Acquisition of Fuel for Overseas Contingency Operations, requires offerors to report
L0:promptly to the contracting officer, prior to award, any instance of unsupported denial
L0:of access to a facility or equipment by a host-nation government that may prevent it
L0:from complying with the terms and conditions of the solicitation.
L1:(b) See 215.103-1-71 for the requirement to consider using a tradeoff process.

225.7024-4 Solicitation provision

Status: active

L0:225.7024-4 Solicitation provision.

L0:Insert the provision at 252.225-7964, Restriction on Acquisition of Fuel for Overseas
L0:Contingency Operations, in solicitations, including solicitations using FAR part 12
L0:procedures for the acquisition of commercial products and commercial services, that are
L0:for the acquisition of fuel for overseas contingency operations and are expected to exceed
L0:the simplified acquisition threshold.

225.7100 Scope of subpart

Status: active

L0:225.7100 Scope of subpart.

L0:This subpart contains foreign product restrictions that are based on policies designed to
L0:protect the defense industrial base.

225.7101 Definitions

Status: active

L0:225.7101 Definitions.

L0:As used in this subpart?

L0:?'Component?' means any item supplied to the Government as part of an end product or
L0:of another component.

L0:?'Domestic manufacture?' means manufactured in the United States, its outlying areas;
L0:or Canada.

225.7102 Forgings

Status: active

L0:225.7102 Forgings.

225.7102-1 Policy

Status: active

L0:225.7102-1 Policy.

L0:When acquiring the following forging items, whether as end items or components,
L0:acquire items that are of domestic manufacture to the maximum extent practicable:

L0:Items

L0:Ship propulsion shafts

L0:Periscope tubes

L0:Ring forgings for bull gears

L0:Categories

L0:Excludes service and landing craft shafts.

L0:All.

L0:All greater than 120 inches in diameter.

225.7102-2 Exceptions

Status: active

L0:225.7102-2 Exceptions.

L0:The policy in 225.7102-1 does not apply to acquisitions?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(a) Using simplified acquisition procedures, unless the restricted item is the end

L0:item being purchased;

L1:(b) Overseas for overseas use; or

L1:(c) When the quantity acquired exceeds the amount needed to maintain the U.S.

L0:defense mobilization base (provided the excess quantity is an economical purchase

L0:quantity). The requirement for domestic manufacture does not apply to the quantity

L0:above that required to maintain the base, in which case, qualifying country sources may

L0:compete.

225.7102-3 Waiver

Status: active

L0:225.7102-3 Waiver.

L0:Upon request from a contractor, the contracting officer may waive the requirement for

L0:domestic manufacture of the items listed in 225.7102-1.

225.7102-4 Contract clause

Status: active

L0:225.7102-4 Contract clause.

L0:Insert the clause at 252.225-7025, Restriction on Acquisition of Forgings, in solicitations

L0:and contracts, unless?

L1:(a) The supplies being acquired do not contain any of the items listed in 225.7102-1;

L0:or

L1:(b) An exception in 225.7102-2 applies. If an exception applies to only a portion of

L0:the acquisition, specify the excepted portion in the solicitation and contract.

225.7201 Policy

Status: active

L0:225.7201 Policy.

L0:10 U.S.C. 4603 requires offerors and contractors to notify DoD of any intention to

L0:perform any part of a DoD contract outside the United States and Canada that?

L1:(a) Exceeds \$900,000 in value; and

L1:(b) Could be performed inside the United States or Canada.

225.7202 Exception

Status: active

L0:225.7202 Exception.

L0:This subpart does not apply to contracts for commercial products, commercial services,

L0:construction, ores, natural gas, utilities, petroleum products and crudes, timber (logs),

L0:or subsistence.

225.7203 Contracting officer distribution of reports

Status: active

L0:225.7203 Contracting officer distribution of reports.

L0:Follow the procedures at PGI 225.7203 for distribution of reports submitted with offers

L0:in accordance with the provision at 252.225-7003, Report of Intended Performance

L0:Outside the United States and Canada?Submission with Offer.

225.7204 Solicitation provision and contract clauses

Status: active

L0:225.7204 Solicitation provision and contract clauses.

L0:Except for acquisitions described in 225.7202?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(a) Insert the provision at 252.225-7003, Report of Intended Performance Outside

L0:the United States and Canada?Submission with Offer, in solicitations with a value

L0:exceeding \$20 million; and

L1:(b) Insert the clause at 252.225-7004, Report of Intended Performance Outside the

L0:United States and Canada?Submission after Award, in solicitations and contracts with

L0:a value exceeding \$20 million.

225.7300 Scope of subpart

Status: active

L0:225.7300 Scope of subpart.

L1:(a) This subpart contains policies and procedures for acquisitions for foreign

L0:military sales (FMS) under the Arms Export Control Act (22 U.S.C. Chapter 39).

L0:Section 22 of the Arms Export Control Act (22 U.S.C. 2762) authorizes DoD to enter into

L0:contracts for resale to foreign countries or international organizations.

L1:(b) This subpart does not apply to?

L1:(1) FMS made from inventories or stocks;

L1:(2) Acquisitions for replenishment of inventories or stocks; or

L1:(3) Acquisitions made under DoD cooperative logistic supply support

L0:arrangements.

225.7301 General

Status: active

L0:225.7301 General.

L1:(a) The U.S. Government sells defense articles and services to foreign governments

L0:or international organizations through FMS agreements. The agreement is

L0:documented in a Letter of Offer and Acceptance (LOA) (see the Defense Security

L0:Cooperation Agency (DSCA) Security Assistance Management Manual (DSCA 5105.38-L0:M)).

L1:(b) Conduct FMS acquisitions under the same acquisition and contract

L0:management procedures used for other defense acquisitions.

L1:(c) Follow the additional procedures at PGI 225.7301(c) for preparation of

L0:solicitations and contracts that include FMS requirements.

L1:(d) See 229.170 for policy on contracts financed under U.S. assistance programs that

L0:involve payment of foreign country value added taxes or customs duties.

225.7301-1 [Reserved]

Status: active

L0:225.7301-1 [Reserved]

225.7301-2 Solicitation approval for sole source contracts

Status: active

L0:225.7301-2 Solicitation approval for sole source contracts.

L0:Coordinate through agency channels with the Principal Director, Defense Pricing,

L0:Contracting, and Acquisition Policy, prior to issuing a solicitation for a sole source

L0:contract for U.S./FMS combined requirements for a major system that has an estimated

L0:contract value that exceeds \$500 million. See also 201.170.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

225.7302 Preparation of letter of offer and acceptance

Status: active

L0:225.7302 Preparation of letter of offer and acceptance.

L0:For FMS programs that will require an acquisition, assist the DoD implementing

L0:agency responsible for preparing the Letter of Offer and Acceptance (LOA) by?

L1:(1) Working with prospective contractors to?

L1:(i) Identify, in advance of the LOA, any unusual provisions or deviations (such

L0:as those requirements for Pseudo LOAs identified at PGI 225.7301);

L1:(ii) Advise the contractor if the DoD implementing agency expands, modifies, or

L0:does not accept any key elements of the prospective contractor's proposal;

L1:(iii) Identify any logistics support necessary to perform the contract (such as

L0:those requirements identified at PGI 225.7301); and

L1:(iv) For noncompetitive acquisitions over \$10,000, ask the prospective

L0:contractor for information on price, delivery, and other relevant factors. The request for

L0:information must identify the fact that the information is for a potential foreign military

L0:sale and must identify the foreign customer; and

L1:(2) Working with the DoD implementing agency responsible for preparing the LOA,

L0:as specified in PGI 225.7302.

225.7303 Pricing acquisitions for FMS

Status: active

L0:225.7303 Pricing acquisitions for FMS.

L1:(a) Price FMS contracts using the same principles used in pricing other defense

L0:contracts. However, application of the pricing principles in FAR parts 15 and 31 to an

L0:FMS contract may result in prices that differ from other defense contract prices for the

L0:same item due to the considerations in this section.

L1:(b) If the foreign government has conducted a competition resulting in adequate

L0:price competition (see FAR 15.403-2(b)(1)), do not require the submission of certified

L0:cost or pricing data. The contracting officer should consult with the foreign government

L0:through security assistance personnel to determine if adequate price competition has

L0:occurred.

225.7303-1 do not exist, except as provided in 225.7303-5, recognize the reasonable and

Status: active

L0:225.7303-1 do not exist, except as provided in 225.7303-5, recognize the reasonable and

L0:allocable costs of doing business with a foreign government or international

L0:organization, even though such costs might not be recognized in the same amounts in

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:pricing other defense contracts. Examples of such costs include, but are not limited to,

L0:the following:

L1:(1) Selling expenses (not otherwise limited by FAR Part 31), such as?

L1:(i) Maintaining international sales and service organizations;

L1:(ii) Sales commissions and fees in accordance with FAR subpart 3.4;

L1:(iii) Sales promotions, demonstrations, and related travel for sales to foreign

L0:governments. Section 126.8 of the International Traffic in Arms Regulations (22 CFR

L0:126.8) may require Government approval for these costs to be allowable, in which case

L0:the appropriate Government approval must be obtained; and

L1:(iv) Configuration studies and related technical services undertaken as a

L0:direct selling effort to a foreign country.

L1:(2) Product support and post-delivery service expenses, such as?

L1:(i) Operations or maintenance training, training or tactics films, manuals,

L0:or other related data; and

L1:(ii) Technical field services provided in a foreign country related to accident

L0:investigations, weapon system problems, or operations/tactics enhancement, and

L0:related travel to foreign countries.

L1:(3) Offsets. For additional information see 225.7306.

L1:(i) An offset agreement is the contractual arrangement between the FMS

L0:customer and the U.S. defense contractor that identifies the offset obligation imposed by

L0:the FMS customer that has been accepted by the U.S. defense contractor as a condition
L0:of the FMS customer's purchase. These agreements are distinct and independent of the
L0:LOA and the FMS contract. Further information about offsets and LOAs may be found
L0:in the Defense Security Cooperation Agency (DSCA) Security Assistance Management
L0:Manual (DSCA 5105.38-M), chapter 6, paragraph 6.3.9.

L0:(<http://samm.dsca.mil/chapter/chapter-6>).

L1:(ii) A U.S. defense contractor may recover all costs incurred for offset
L0:agreements with a foreign government or international organization if the LOA is
L0:financed wholly with foreign government or international organization customer cash or
L0:repayable foreign military finance credits.

L1:(iii) The U.S. Government assumes no obligation to satisfy or administer
L0:the offset agreement or to bear any of the associated costs.

L1:(iv) Indirect offset costs are deemed reasonable for purposes of FAR parts 15
L0:and 31 with no further analysis necessary on the part of the contracting officer,
L0:provided that the U.S. defense contractor submits to the contracting officer a signed
L0:offset agreement or other documentation showing that the FMS customer has made the
L0:provision of an indirect offset a condition of the FMS acquisition. FMS customers are
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

L0:placed on notice through the LOA that indirect offset costs are deemed reasonable
L0:without any further analysis by the contracting officer.

L1:(4) Costs that are the subject of advance agreement under the appropriate
L0:provisions of FAR part 31; or where the advance understanding places a limit on the
L0:amounts of cost that will be recognized as allowable in defense contract pricing, and the
L0:agreement contemplated that it will apply only to DoD contracts for the U.S.
L0:Government's own requirement (as distinguished from contracts for FMS).

L1:(b) Costs not allowable under FAR part 31 are not allowable in pricing FMS
L0:contracts, except as noted in paragraphs (c) and (e) of this section.

L1:(c) The limitations for all contractors described in 231.205-18(c)(iii) and (iv) do not
L0:apply to FMS contracts, except as provided in 225.7303-5. The allowability of
L0:independent research and development (IR&D) costs and bid and proposal (B&P) costs
L0:on contracts for FMS not wholly paid for from funds made available on a nonrepayable
L0:basis is limited to the contract's allocable share of the contractor's total IR&D
L0:expenditures and total B&P expenditures. In pricing contracts for such FMS?

L1:(1) Use the best estimate of reasonable costs in forward pricing; and

L1:(2) Use actual expenditures, to the extent that they are reasonable, in
L0:determining final cost.

L1:(d) Under paragraph (e)(1)(A) of Section 21 of the Arms Export Control Act (22
L0:U.S.C. 2761), the United States must charge for administrative services to recover the
L0:estimated cost of administration of sales made under the Arms Export Control Act.

L1:(e) The limitations in 231.205-1 on allowability of costs associated with leasing
L0:Government equipment do not apply to FMS contracts.

225.7303-2 Cost of doing business with a foreign government or an

Status: active

L0:225.7303-2 Cost of doing business with a foreign government or an
L0:international organization.
L1:(a) In pricing FMS contracts where non-U.S. Government prices as described in

225.7303-3 Government-to-government agreements

Status: active

L0:225.7303-3 Government-to-government agreements.
L0:If a government-to-government agreement between the United States and a foreign
L0:government for the sale, coproduction, or cooperative logistic support of a specifically
L0:defined weapon system, major end item, or support item, contains language in conflict
L0:with the provisions of this section, the language of the government-to-government
L0:agreement prevails.

225.7303-4 Contingent fees

Status: active

L0:225.7303-4 Contingent fees.
L1:(a) Except as provided in paragraph (b) of this subsection, contingent fees are
L0:generally allowable under DoD contracts, provided?
L1:(1) The fees are paid to a bona fide employee or a bona fide established
L0:commercial or selling agency maintained by the prospective contractor for the purpose
L0:of securing business (see FAR part 31 and FAR subpart); and
L1:(2) The contracting officer determines that the fees are fair and reasonable.
L2:(b)(1) Under DoD 5105.38-M, LOAs for requirements for the governments of
L0:Australia, Taiwan, Egypt, Greece, Israel, Japan, Jordan, Republic of Korea, Kuwait,
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L0:Pakistan, Philippines, Saudi Arabia, Turkey, Thailand, or Venezuela (Air Force) must
L0:provide that all U.S. Government contracts resulting from the LOAs prohibit the
L0:reimbursement of contingent fees as an allowable cost under the contract, unless the
L0:contractor identifies the payments and the foreign customer approves the payments in
L0:writing before contract award (see 225.7307(a)).
L1:(2) For FMS to countries not listed in paragraph (b)(1) of this subsection,
L0:contingent fees exceeding \$50,000 per FMS case are unallowable under DoD contracts,
L0:unless the contractor identifies the payment, and the foreign customer approves the
L0:payment in writing before contract award.

225.7303-5 Acquisitions wholly paid for from nonrepayable funds

Status: active

L0:225.7303-5 Acquisitions wholly paid for from nonrepayable funds.

L1:(a) In accordance with 22 U.S.C. 2762(d), price FMS wholly paid for from funds
L0:made available on a nonrepayable basis on the same costing basis regarding profit,
L0:overhead, IR&D/B&P, and other costing elements as is applicable to acquisitions of like
L0:items purchased by DoD for its own use.

L1:(b) Direct costs associated with meeting a foreign customer's additional or unique
L0:requirements are allowable under such contracts. Indirect burden rates applicable to
L0:such direct costs are permitted at the same rates applicable to acquisitions of like items
L0:purchased by DoD for its own use.

L1:(c) A U.S. defense contractor may not recover costs incurred for offset agreements
L0:with a foreign government or international organization if the LOA is financed with
L0:funds made available on a nonrepayable basis.

225.7304 FMS customer involvement

Status: active

L0:225.7304 FMS customer involvement.

L1:(a) FMS customers may request that a defense article or defense service be obtained
L0:from a particular contractor. In such cases, FAR 6.103-4 provides authority to contract
L0:without full and open competition. The FMS customer may also request that a
L0:subcontract be placed with a particular firm. Honor such requests from the FMS
L0:customer only if the LOA or other written direction sufficiently fulfills the requirements
L0:of FAR subpart 6.1.

L1:(b) FMS customers should be encouraged to participate with U.S. Government
L0:acquisition personnel in discussions with industry to?

L1:(1) Develop technical specifications;

L1:(2) Establish delivery schedules;

L1:(3) Identify any special warranty provisions or other requirements unique to
L0:the FMS customer; and

L1:(4) Review prices of varying alternatives, quantities, and options needed to
L0:make price-performance tradeoffs.

L1:(c) Do not disclose to the FMS customer any data, including certified cost or pricing
L0:data, that is contractor proprietary unless the contractor authorizes its release.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(d) Except as provided in paragraph (e)(3) of this section, the degree of FMS
L0:customer participation in contract negotiations is left to the discretion of the contracting
L0:officer after consultation with the contractor. Provide an explanation to the FMS
L0:customer if its participation in negotiations will be limited. Factors that may limit FMS
L0:customer participation include situations where?

L1:(1) The contract includes requirements for more than one FMS customer;

L1:(2) The contract includes unique U.S. requirements; or

L1:(3) Contractor proprietary data is a subject of negotiations.

L1:(e) Do not allow representatives of the FMS customer to?

L1:(1) Direct the exclusion of certain firms from the solicitation process (they may

L0:suggest the inclusion of certain firms);
L1:(2) Interfere with a contractor's placement of subcontracts; or
L1:(3) Observe or participate in negotiations between the U.S. Government and
L0:the contractor involving certified cost or pricing data, unless a deviation is granted in
L0:accordance with subpart 201.4.
L1:(f) Do not accept directions from the FMS customer on source selection decisions or
L0:contract terms (except that, upon timely notice, the contracting officer may attempt to
L0:obtain any special contract provisions, warranties, or other unique requirements
L0:requested by the FMS customer).
L1:(g) Do not honor any requests by the FMS customer to reject any bid or proposal.
L1:(h) If an FMS customer requests additional data concerning FMS contract prices,
L0:after consultation with the contractor, provide sufficient data to demonstrate the
L0:reasonableness of the price and reasonable responses to relevant questions concerning
L0:contract price. This data?
L1:(1) May include tailored responses, top-level pricing summaries, historical
L0:prices, or an explanation of any significant differences between the actual contract price
L0:and the estimated contract price included in the initial LOA; and
L1:(2) May be provided orally, in writing, or by any other method acceptable to the
L0:contracting officer.

225.7305 Limitation of liability

Status: active

L0:225.7305 Limitation of liability.
L0:Advise the contractor when the foreign customer will assume the risk for loss or damage
L0:under the appropriate limitation of liability clause(s) (see FAR subpart 46.8). Consider
L0:the costs of necessary insurance, if any, obtained by the contractor to cover the risk of
L0:loss or damage in establishing the FMS contract price.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

225.7306 Offset arrangements

Status: active

L0:225.7306 Offset arrangements.
L0:In accordance with the Presidential policy statement of April 16, 1990, DoD does not
L0:encourage, enter into, or commit U.S. firms to FMS offset arrangements. The decision
L0:whether to engage in offsets, and the responsibility for negotiating and implementing
L0:offset arrangements, resides with the companies involved. (See also 225.7303-2(a)(3).)

225.7307 Contract clauses

Status: active

L0:225.7307 Contract clauses.

L1:(a) Insert the clause at 252.225-7027, Restriction on Contingent Fees for Foreign

L0:Military Sales, in solicitations and contracts, including solicitations and contracts using

L0:FAR part 12 procedures for the acquisition of commercial products and commercial

L0:services, that are for FMS. Insert in paragraph (b)(1) of the clause the name(s) of any

L0:foreign country customer(s) listed in 225.7303-4(b).

L1:(b) Insert the clause at 252.225-7028, Exclusionary Policies and Practices of Foreign

L0:Governments, in solicitations and contracts, including solicitations and contracts using

L0:FAR part 12 procedures for the acquisition of commercial products and commercial

L0:services, that are for the purchase of supplies and services for international military

L0:education training and FMS.

L0:SUBPART 225.74 [RESERVED]

225.7500 Scope of subpart

Status: active

L0:225.7500 Scope of subpart.

L0:This subpart states policies and procedures implementing the Balance of Payments

L0:Program. It applies to contracts for the acquisition of?

L1:(a) Supplies for use outside the United States; and

L1:(b) Construction to be performed outside the United States.

225.7501 Policy

Status: active

L0:225.7501 Policy.

L0:Acquire only domestic end products for use outside the United States, and use only

L0:domestic construction material for construction to be performed outside the United

L0:States, including end products and construction material for foreign military sales,

L0:unless?

L1:(a) Before issuing the solicitation?

L1:(1) The estimated cost of the acquisition or the value of a particular

L0:construction material is at or below the simplified acquisition threshold;

L1:(2) The end product or particular construction material is?

L1:(i) Listed in FAR 25.104;

L1:(ii) A petroleum product;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(iii) A spare part for foreign-manufactured vehicles, equipment, machinery,

L0:or systems, provided the acquisition is restricted to the original manufacturer or its

L0:supplier;

L1:(iv) An industrial gas;

L0:.

L1:(v) A brand drug specified by the Defense Medical Materiel Board; or
L1:(vi) Information technology that is a commercial product, using fiscal year
L0:2004 or subsequent funds (section 535 of Division F of the Consolidated Appropriations
L0:Act, 2004 (Pub. L. 108-199), and the same provision in subsequent appropriations acts);
L1:(3) The acquisition is covered by the World Trade Organization Government
L0:Procurement Agreement;
L1:(4) The acquisition of foreign end products or construction material is required
L0:by a treaty or executive agreement between governments;
L1:(5) [Reserved];
L1:(6) The end product is acquired for commissary resale; or
L1:(7) The contracting officer determines that a requirement can best be filled by a
L0:foreign end product or construction material, including determinations that?
L1:(i) A subsistence product is perishable and delivery from the United States
L0:would significantly impair the quality at the point of consumption;
L1:(ii) An end product or construction material, by its nature or as a practical
L0:matter, can best be acquired in the geographic area concerned, e.g., ice or books; or bulk
L0:material, such as sand, gravel, or other soil material, stone, concrete masonry units, or
L0:fired brick;
L1:(iii) A particular domestic construction material is not available;
L1:(iv) The cost of domestic construction material would exceed the cost of
L0:foreign construction material by more than 50 percent, calculated on the basis of?
L1:(A) A particular construction material; or
L0:Program to the total acquisition; or
L1:(B) The comparative cost of application of the Balance of Payments
L1:(v) Use of a particular domestic construction material is impracticable;
L1:(b) After receipt of offers?
L1:(1) The evaluated low offer (see subpart 225.5) is an offer of an end product
L0:that?
L1:(i) Is a qualifying country end product;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L1:(ii) Is an eligible product; or
L1:(iii) [Reserved]
L1:(iv) Is a nonqualifying country end product, but application of the Balance of
L0:Payments Program evaluation factor would not result in award on a domestic offer; or
L1:(2) [Reserved]
L1:(c) At any time during the acquisition process, the head of the agency determines
L0:that applying the restrictions of the Balance of Payments Program to the end product or
L0:construction material is not in the public interest.

225.7502 Procedures

Status: active

L0:225.7502 Procedures.

L0:If the Balance of Payments Program applies to the acquisition, follow the procedures at
L0:PGI 225.7502.

225.7503 Contract clauses

Status: active

L0:225.7503 Contract clauses.

L0:Unless the entire acquisition is exempt from the Balance of Payments Program?

L1:(a) Insert the basic or an alternate of the clause at 252.225-7044, Balance of

L0:Payments Program?Construction Material, in solicitations and contracts for

L0:construction to be performed outside the United States, including acquisitions of

L0:commercial products or commercial components, with an estimated value greater than

L0:the simplified acquisition threshold but less than \$6,708,000.

L1:(1) [Reserved]

L1:(2) [Reserved]

L1:(3) Insert the alternate II clause in lieu of the basic clause if an alternate

L0:domestic content threshold will apply to the entire period of performance as approved

L0:by the senior procurement executive (see 225.101(d)).

L1:(4) [Reserved]

L1:(b) Insert the basic or an alternate of the clause at 252.225-7045, Balance of

L0:Payments Program?Construction Material Under Trade Agreements, in solicitations

L0:and contracts for construction to be performed outside the United States with an

L0:estimated value of \$6,708,000 or more, including acquisitions of commercial products or

L0:commercial components.

L1:(1) Insert the basic clause in solicitations and contracts with an estimated value

L0:of \$13,296,489 or more.

L1:(2) Insert the alternate I clause in solicitations and contracts with an estimated

L0:value of \$6,708,000 or more, but less than \$13,296,489.

L1:(3) [Reserved]

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(4) [Reserved]

L1:(5) Insert the alternate IV clause in lieu of the basic clause in solicitations and

L0:contracts when?

L1:(i) The estimated value is \$13,296,489 or more; and

L1:(ii) An alternate domestic content threshold will apply to the entire period of

L0:performance as approved by the senior procurement executive (see 225.101(d)).

L1:(6) Insert the alternate V clause in lieu of the alternate I clause in solicitations

L0:and contracts when?

L1:(i) The estimated value is \$6,708,000 or more, but less than \$13,296,489;

L0:and

L1:(ii) An alternate domestic content threshold will apply to the entire period of

L0:performance as approved by the senior procurement executive (see 225.101(d)).

L1:(7) [Reserved]

L1:(8) [Reserved]

225.7601 Restriction

Status: active

L0:225.7601 Restriction.

L0:In accordance with 10 U.S.C. 4659, do not enter into a contract with a foreign entity

L0:unless it has certified that it does not comply with the secondary Arab boycott of Israel.

225.7602 Procedures

Status: active

L0:225.7602 Procedures.

L0:For contracts awarded to the Canadian Commercial Corporation (CCC), the CCC will

L0:submit a certification from its proposed subcontractor with the other required

L0:precontractual information (see 225.870).

225.7603 Exceptions

Status: active

L0:225.7603 Exceptions.

L0:This restriction does not apply to?

L1:(a) Purchases at or below the simplified acquisition threshold;

L1:(b) Contracts for consumable supplies, provisions, or services for the support of

L0:United States forces or of allied forces in a foreign country; or

L1:(c) Contracts pertaining to the use of any equipment, technology, data, or services

L0:for intelligence or classified purposes, or to the acquisition or lease thereof, in the

L0:interest of national security.

225.7604 Waivers

Status: active

L0:225.7604 Waivers.

L0:The Secretary of Defense may waive this restriction on the basis of national security

L0:interests. To request a waiver, follow the procedures at PGI 225.7604.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

225.7605 Solicitation provision

Status: active

L0:225.7605 Solicitation provision.

L0:Unless an exception at 225.7603 applies or a waiver has been granted in accordance
L0:with 225.7604, insert the provision at 252.225-7031, Secondary Arab Boycott of Israel,
L0:in all solicitations, including solicitations using FAR part 12 procedures for the
L0:acquisition of commercial products and commercial services. If the solicitation includes
L0:the provision at FAR 52.204-7, do not separately list 252.225-7031 in the solicitation.

225.7801 Policy

Status: active

L0:225.7801 Policy.
L0:For guidance on procurement support of the geographic combatant command's theater
L0:security cooperation efforts, see PGI 225.78.

225.7900 Scope of subpart

Status: active

L0:225.7900 Scope of subpart.
L0:This subpart implements?
L1:(a) Section 890(a) of the National Defense Authorization Act for Fiscal Year 2008
L0:(Pub. L. 110-181); and
L1:(b) The requirements regarding export control of Title I of the Security Cooperation
L0:Act of 2010 (Pub. L. 111-266); the Treaty Between the Government of the United States
L0:of America and the Government of Australia Concerning Defense Trade Cooperation
L0:(the U.S.-Australia DTC Treaty); and the Treaty Between the Government of the
L0:United States of America and the Government the United Kingdom of Great Britain
L0:and Northern Ireland Concerning Defense Trade Cooperation (the U.S.-U.K. DTC
L0:Treaty). See PGI 225.7902 for additional information.

225.7901 Export-controlled items

Status: active

L0:225.7901 Export-controlled items.
L0:This section implements section 890(a) of the National Defense Authorization Act for
L0:Fiscal Year 2008 (Pub. L. 110-181).

225.7901-1 Definitions

Status: active

L0:225.7901-1 Definitions.
L0:As used in this section?
L0:?"Export-controlled items?" means items subject to the Export Administration
L0:Regulations (EAR) (15 CFR Parts 730-774) or the International Traffic in Arms

L0:Regulations (ITAR) (22 CFR Parts 120-130). The term includes:

L1:(1) "Defense items", defined in the Arms Export Control Act, 22 U.S.C. 2778(j)(4)(A),

L0:as defense articles, defense services, and related technical data, and further defined in

L0:the ITAR, 22 CFR Part 120.

L1:(2) "Items", defined in the EAR as "commodities", "software", and "technology,"

L0:terms that are also defined in the EAR, 15 CFR 772.1.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

225.7901-2 General

Status: active

L0:225.7901-2 General.

L0:Certain types of items are subject to export controls in accordance with the Arms Export

L0:Control Act (22 U.S.C. 2751, et seq.), the International Traffic in Arms Regulations (22

L0:CFR parts 120-130), the Export Administration Act of 1979, as amended (50 U.S.C.

L0:App. 2401 et seq.), and the Export Administration Regulations (15 CFR parts 730-774).

L0:See PGI 225.7901-2 for additional information.

225.7901-3 Policy

Status: active

L0:225.7901-3 Policy.

L1:(a) Both the Government and the contractor should be aware of export controls as

L0:they apply to the performance of DoD contracts.

L1:(b) The contractor bears responsibility to comply with all applicable laws and

L0:regulations regarding export-controlled items. This responsibility exists independent of,

L0:and is not established or limited by, this section.

225.7901-4 Contract clause

Status: active

L0:225.7901-4 Contract clause.

L0:Insert the clause at 252.225-7048, Export-Controlled Items, in all solicitations and

L0:contracts.

225.7902 implements requirements that relate to exports that a prospective contractor may

Status: active

L0:225.7902 implements requirements that relate to exports that a prospective contractor may

L0:make under a DoD solicitation or that a contractor may make in performance of a DoD

L0:contract. The company must continue to comply with domestic laws and regulations,

L0:including those pertaining to the movement of defense articles within the United States.

L0:PGI 225.7902-4 Procedures.

L1:(1) Since the DTC Treaties apply only to eligible items, a solicitation or contract falls

L0:within the scope of the DTC Treaties, and is thus eligible for DTC Treaty coverage (i.e., falls

L0:within the scope of the DTC Treaties) if it will acquire at least one defense article that is not

L0:otherwise exempt from the DTC Treaties and is required for?

L1:(i) Combined military or counterterrorism operations as described in the

L0:Implementing Arrangements;

L1:(ii) Cooperative security and defense research, development, production, and

L0:support programs that are identified pursuant to the Implementing Arrangements;

L1:(iii) Cases where the government or Australia or the government of the United

L0:Kingdom is the end user in mutually agreed specific security and defense projects, that are

L0:identified pursuant to the Implementing Arrangements; or

L1:(iv) U.S. Government end use under a solicitation or contract.

L1:(2) Since the DTC Treaties apply only to eligible items, a solicitation or contract falls

L0:within the scope of the DTC Treaties and is thus eligible for DTC Treaty coverage when it

L0:will acquire at least one defense article that is DTC Treaty-eligible and the contract falls

L0:within the scope of the DTC Treaties. Article 3, section (2) of each DTC Treaty and Section

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:4 of each Implementing Arrangement require the DTC Treaty Participants to maintain lists of

L0:defense articles to be exempted from the scope of the DTC Treaties. These exempted

L0:technology lists are incorporated in Supplement No. 1 to part of the ITAR.

L1:(3) The DTC Treaties do not apply to defense articles initially being acquired pursuant to

L0:the U.S. Foreign Military Sales (FMS) program, although, once the defense articles are

L0:acquired by the Australia or United Kingdom under an FMS case, the DTC Treaty applies as

L0:though the defense articles were exported under the DTC Treaty, subject to PGI 225.7902-

L0:2.

L1:(4) If a company obtains an export license, or other authorization, for the export of

L0:defense articles that might otherwise have been eligible for export without a license under a

L0:DTC Treaty, the terms of the export license, or other authorization, must apply unless and

L0:until the company obtains approval to transition to DTC Treaty coverage. The process and

L0:requirements for transition are described in 22 CFR 126.16(i) and 22 CFR 126.17(i),

L0:respectively.

225.7902-1 Definitions

Status: active

L0:225.7902-1 Definitions.

L0:As used in this section?

L0:Approved Community? means the U.S. Government, U.S. entities that are registered

L0:and eligible exporters, and certain government and industry facilities in Australia or

L0:the United Kingdom that are approved and listed by the U.S. Government.

L0:Defense articles? means articles, services, and related technical data, including

L0:software, in tangible or intangible form, listed on the United States Munitions List of L0:the International Traffic in Arms Regulations (ITAR), as modified or amended.

L0:Defense Trade Cooperation (DTC) Treaty? means?

L1:(1) The Treaty Between the Government of the United States of America and the L0:government of the United Kingdom of Great Britain and Northern Ireland concerning L0:Defense Trade Cooperation, signed at Washington and London on June 21 and 26, L0:2007; or

L1:(2) The Treaty Between the Government of the United States of America and the L0:Government of Australia Concerning Defense Trade Cooperation, signed at Sydney on L0:September 5, 2007.

L0:Export? means the initial movement of defense articles from the United States L0:Community to the United Kingdom Community and the Australia community.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Qualifying defense articles? means defense articles that are not exempt from the scope L0:of the DTC Treaties as defined in 22 CFR 126.16(g) and 22 CFR 126.17(g).

L0:Transfer? means the movement of previously exported defense articles within the L0:Approved Community. ?United Kingdom Community member? means a United L0:Kingdom government authority or nongovernmental entity or facility on the United L0:Kingdom Community list accessible at <http://pmddtc.state.gov>.

L0:U.S. DoD Treaty-eligible requirements? means any defense article acquired by the DoD L0:for use in a combined military or counterterrorism operation, cooperative research, L0:development, production or support program, or DoD end use, as described in Article 3 L0:of the U.S.-U.K. DTC Treaty and sections 2 and 3 of the associated Implementing L0:Arrangement; and Article 3 of the U.S.-Australia DTC Treaty and sections 2 and 3 of L0:the associated Implementing Arrangement.

225.7902-2 Purpose

Status: active

L0:225.7902-2 Purpose.

L0:The DTC Treaties permit the export of certain U.S. defense articles, technical data, and L0:defense services, without U.S. export licenses or other written authorization under the L0:International Traffic in Arms Regulation (ITAR) into and within the Approved L0:Community, as long as the exports are in support of purposes specified in the DTC L0:Treaties. All persons must continue to comply with statutory and regulatory L0:requirements outside of DFARS and ITAR concerning the import of defense articles and L0:defense services or the possession or transfer of defense articles, including, but not L0:limited to, regulations issued by the Bureau of Alcohol, Tobacco, Firearms and L0:Explosives found at 27 CFR parts 447, 478, and 479, which are unaffected by the DTC L0:Treaties. The Approved Community consists of U.S. entities that are registered with L0:the Department of State and are eligible exporters, the U.S. Government, and certain L0:governmental and commercial facilities in Australia and the United Kingdom that are L0:approved and listed by the U.S. Government. See PGI 225.7902-2 for additional

L0:information.

225.7902-3 Policy

Status: active

L0:225.7902-3 Policy.

L0:DoD will facilitate maximum use of the DTC Treaties by prospective contractors

L0:responding to DoD solicitations and by contractors eligible to export qualifying defense

L0:articles under DoD contracts in accordance with 22 CFR 126.16(g) and 22 CFR

L0:126.17(g).

225.7902-4 Procedures

Status: active

L0:225.7902-4 Procedures.

L1:(a) For all solicitations and contracts that may be eligible for DTC Treaty coverage

L0:(see PGI 225.7902-4(1)), the program manager must identify in writing and submit to

L0:the contracting officer prior to issuance of a solicitation and prior to award of a

L0:contract?

L1:(1) The qualifying DTC Treaty Scope paragraph (Article 3(1)(a), 3(1)(b), or

L0:3(1)(d) of the U.S.-Australia DTC Treaty or Article (3)(1)(a), (3(1)(b), or 3(1)(d) of the

L0:U.S.-U.K. DTC Treaty); and

L1:(2) The qualifying defense article(s) using the categories described in 22 CFR

L0:126.16(g) and 22 CFR 126.17(g).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(b) If applicable, the program manager must also identify in writing and submit to

L0:the contracting officer any specific Part C, DTC Treaty-exempted technology list items,

L0:terms and conditions for applicable contract line item numbers (See PGI 225.7902-4(2)).

225.7902-5 Solicitation provision and contract clause

Status: active

L0:225.7902-5 Solicitation provision and contract clause.

L1:(a) Insert the provision at 252.225-7046, Exports by Approved Community Members

L0:in Response to the Solicitation, in solicitations containing the clause at 252.225-7047.

L2:(b)(1) Insert the clause at 252.225-7047, Exports by Approved Community Members

L0:in Performance of the Contract, in solicitations and contracts when?

L1:(i) Export-controlled items are expected to be involved in the performance of

L0:the contract and the clause at 252.225-7048 is used; and

L1:(ii) At least one contract line item is intended to satisfy a U.S. DoD Treaty-

L0:eligible requirement.

L1:(2) Complete paragraph (b) of the clause using information the program

L0:manager provided as required by 225.7902-4(a).

252.225-7000 Buy American--Balance of Payments Program Certificate

Status: active

L0:252.225-7000 Buy American--Balance of Payments Program Certificate.

L0:Basic. As prescribed in 225.601(1), use the following provision:

L0:BUY AMERICAN?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?BASIC

L0:(FEB 2024)

L1:(a) Definitions. ?Commercially available off-the-shelf (COTS) item,? ?component,?

L0:?critical component,? ?critical item,? ?domestic end product,? ?foreign end product,?

L0:?qualifying country,? ?qualifying country end product,? and ?United States,? as used in

L0:this provision, have the meanings given in the 252.225-7001, Buy American and

L0:Balance of Payments Program?Basic clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of Part

L0:225 of the Defense Federal Acquisition Regulation Supplement; and

L1:(2) Will evaluate offers of qualifying country end products without regard to the

L0:restrictions of the Buy American statute or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American and Balance of Payments

L0:Program?Basic clause of this solicitation, the Offeror certifies that?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(i) Each end product, except those listed in paragraphs (c)(2) or (3) of this

L0:provision, is a domestic end product and that each domestic end product listed in

L0:paragraph (c)(4) of this provision contains a critical component or a critical item; and

L1:(ii) For end products other than COTS items, components of unknown

L0:origin are considered to have been mined, produced, or manufactured outside the

L0:United States or a qualifying country. For those end products that do not consist wholly

L0:or predominantly of iron or steel or a combination of both, the Offeror shall also indicate

L0:whether these foreign end products exceed 55 percent domestic content, except for those

L0:that are COTS items. If the percentage of the domestic content is unknown, select ?no?.

L1:(2) The Offeror certifies that the following end products are qualifying country

L0:end products:

L0:Line Item Number

L0:Country of Origin

L1:(3) The following end products are other foreign end products, including end

L0:products manufactured in the United States that do not qualify as domestic end

L0:products. For those foreign end products that do not consist wholly or predominantly of

L0:iron or steel or a combination of both, the Offeror shall also indicate whether these

L0:foreign end products exceed 55 percent domestic content, except for those that are

L0:COTS items. If the percentage of the domestic content is unknown, select ?no?.

L0:Line Item Number

L0:Country of Origin

L0:(If known)

L0:Exceeds 55% Domestic Content

L0:(yes/no)

L1:(4) The Offeror shall separately list the line item numbers of domestic end

L0:products that contain a critical component or a critical item (see Federal Acquisition

L0:Regulation 25.105).

L0:Domestic end products containing a critical component or a critical item:

L0:Line Item Number _____

L0:[List as necessary]

L0:(End of provision)

L0:Alternate I. [Reserved]

252.225-7001 Buy American and Balance of Payments Program

Status: active

L0:252.225-7001 Buy American and Balance of Payments Program.

L0:Basic. As prescribed in 225.601(2)(i), use the following clause:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:BUY AMERICAN AND BALANCE OF PAYMENTS PROGRAM?BASIC

L0:(FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of

L0:?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier,

L0:without modification, in the same form in which it is sold in the commercial

L0:marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as

L0:agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end

L0:product.

L0:?Critical component? means a component that is mined, produced, or manufactured

L0:in the United States and deemed critical to the U.S. supply chain. The list of critical

L0:components is at FAR 25.105.

L0:?Critical item? means a domestic construction material or domestic end product that

L0:is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or

L0:steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States;

L0:or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components

L0:that are mined, produced, or manufactured in the United States exceeds 60 percent of

L0:the cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:starting in calendar year 2029, unless an alternate percentage is established for a

L0:contract in accordance with FAR 25.101(d), or award is made before January 1, 2030,

L0:for a foreign end product that exceeds 55 percent domestic content (see Defense Federal

L0:Acquisition Regulation Supplement 225.103(b)(ii)). The cost of components includes

L0:transportation costs to the place of incorporation into the end product and U.S. duty

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:(whether or not a duty-free entry certificate is issued). Components of unknown origin

L0:are treated as foreign. Scrap generated, collected, and prepared for processing in the

L0:United States is considered domestic. A component is considered to have been mined,

L0:produced, or manufactured in the United States (regardless of its source in fact) if the

L0:end product in which it is incorporated is manufactured in the United States and the

L0:component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a

L0:satisfactory quality are not mined, produced, or manufactured in the United States; or

L0:restrictions of the Buy American statute; or

L1:(2) It is inconsistent with the public interest to apply the

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or

L0:a combination of both, an end product manufactured in the United States, if the cost of

L0:iron and steel not produced in the United States or a qualifying country constitutes less

L0:than 5 percent of the cost of all the components used in the end product (produced in the

L0:United States or a qualifying country means that all manufacturing processes of the

L0:iron or steel must take place in the United States or a qualifying country, except

L0:metallurgical processes involving refinement of steel additives). The cost of iron and

L0:steel not produced in the United States or a qualifying country includes but is not

L0:limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or

L0:sheet), castings, or forgings, not produced in the United States or a qualifying country,

L0:utilized in the manufacture of the end product and a good faith estimate of the cost of

L0:all iron or steel components not produced in the United States or a qualifying country,

L0:excluding COTS fasteners. Iron or steel components of unknown origin are treated as

L0:foreign. If the end product contains multiple components, the cost of all the materials

L0:used in such end product is calculated in accordance with the explanation of cost of

L0:components in paragraph (1)(ii)(A) of this definition.

L0:“End product” means those articles, materials, and supplies to be acquired under

L0:this contract for public use.

L0:“Foreign end product” means an end product other than a domestic end product.

L0:“Predominantly of iron or steel or a combination of both” means that the cost of the

L0:iron and steel content exceeds 50 percent of the total cost of all its components. The cost

L0:of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, L0:wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product L0:and a good faith estimate of the cost of iron or steel components excluding COTS L0:fasteners.

L0:Qualifying country? means a country with a reciprocal defense procurement L0:memorandum of understanding or international agreement with the United States in L0:which both countries agree to remove barriers to purchases of supplies produced in the L0:other country or services performed by sources of the other country, and the L0:memorandum or agreement complies, where applicable, with the requirements of L0:section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. L0:Accordingly, the following are qualifying countries:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

L0:Australia
L0:Austria
L0:Belgium
L0:Canada
L0:Czech Republic
L0:Denmark
L0:Egypt
L0:Estonia
L0:Finland
L0:France
L0:Germany
L0:Greece
L0:Israel
L0:Italy
L0:Japan
L0:Latvia
L0:Lithuania
L0:Luxembourg
L0:Netherlands
L0:Norway
L0:Poland
L0:Portugal
L0:Slovenia
L0:Spain
L0:Sweden
L0:Switzerland
L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component? means a component mined, produced, or L0:manufactured in a qualifying country.

L0:Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country;

L0:or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the

L0:cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:starting in calendar year 2029, unless an alternate percentage is established for a

L0:contract:

L1:(A) Components mined, produced, or manufactured in a qualifying

L0:country.

L0:States.

L1:(B) Components mined, produced, or manufactured in the United

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(C) Components of foreign origin of a class or kind for which the

L0:Government has determined that sufficient and reasonably available commercial

L0:quantities of a satisfactory quality are not mined, produced, or manufactured in the

L0:United States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2

L0:percent carbon, and may include other elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) This clause implements 41 U.S.C chapter 83, Buy American. In accordance with

L0:41 U.S.C. 1907, the component test of the Buy American statute is waived for an end

L0:product that is a COTS item . Unless otherwise specified, this clause applies to all line

L0:items in the contract.

L1:(c) The Contractor shall deliver only domestic end products unless, in its offer, it

L0:specified delivery of other end products in the Buy American?Balance of Payments

L0:Program Certificate provision of the solicitation. If the Contractor certified in its offer

L0:that it will deliver a qualifying country end product, the Contractor shall deliver a

L0:qualifying country end product or, at the Contractor?s option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for

L0:which the Contractor will claim duty-free entry.

L0:Alternate I. [Reserved]

L0:(End of clause)

L0:Alternate II. As prescribed in 225.601(2)(i) and (2)(ii), use the following clause,

L0:which includes, in the definitions of ?domestic end product? at paragraph (1)(ii)(A) and

L0:?qualifying country end product? at paragraph (2)(i), the domestic content threshold

L0:that will apply to the entire contract period of performance.

L0:BUY AMERICAN AND BALANCE OF PAYMENTS PROGRAM?

L0:ALTERNATE II (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of

L0:commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(iii) Offered to the Government, under a contract or subcontract at any tier,

L0:without modification, in the same form in which it is sold in the commercial

L0:marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as

L0:agricultural products and petroleum products.

L0:Component? means an article, material, or supply incorporated directly into an end

L0:product.

L0:Critical component? means a component that is mined, produced, or manufactured

L0:in the United States and deemed critical to the U.S. supply chain. The list of critical

L0:components is at FAR 25.105.

L0:Critical item? means a domestic construction material or domestic end product that

L0:is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or

L0:steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States;

L0:or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components

L0:that are mined, produced, or manufactured in the United States exceeds, for the entire

L0:period of performance for a contract awarded in: calendar year 2023, 60 percent of the

L0:cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all

L0:its components; or calendar year 2029 or later, 75 percent of the cost of all its

L0:components. The cost of components includes transportation costs to the place of

L0:incorporation into the end product and U.S. duty (whether or not a duty-free entry

L0:certificate is issued). Components of unknown origin are treated as foreign. Scrap

L0:generated, collected, and prepared for processing in the United States is considered

L0:domestic. A component is considered to have been mined, produced, or manufactured in

L0:the United States (regardless of its source in fact) if the end product in which it is

L0:incorporated is manufactured in the United States and the component is of a class or

L0:kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a

L0:satisfactory quality are not mined, produced, or manufactured in the United States; or

L0:restrictions of the Buy American statute; or

L1:(2) It is inconsistent with the public interest to apply the

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or

L0:a combination of both, an end product manufactured in the United States, if the cost of

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:iron and steel not produced in the United States or a qualifying country constitutes less

than 5 percent of the cost of all the components used in the end product (produced in the United States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

“End product” means those articles, materials, and supplies to be acquired under this contract for public use.

“Foreign end product” means an end product other than a domestic end product.

“Predominantly of iron or steel or a combination of both” means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

“Qualifying country” means a country with a reciprocal defense procurement memorandum of understanding or international agreement with the United States in which both countries agree to remove barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

Australia

Austria

Belgium

Canada

Czech Republic

Denmark

Egypt

Estonia

Finland

France

Germany

Greece

Israel

Italy

Japan

Latvia

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component? means a component mined, produced, or

L0:manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country;

L0:or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire

L0:period of performance for a contract awarded in calendar year 2023, 60 percent of the

L0:cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all

L0:its components; or calendar year 2029 or later, 75 percent of the cost of all its

L0:components:

L1:(A) Components mined, produced, or manufactured in a qualifying

L0:country.

L0:States.

L1:(B) Components mined, produced, or manufactured in the United

L1:(C) Components of foreign origin of a class or kind for which the

L0:Government has determined that sufficient and reasonably available commercial

L0:quantities of a satisfactory quality are not mined, produced, or manufactured in the

L0:United States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2

L0:percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) This clause implements 41 U.S.C. chapter 83, Buy American. In accordance

L0:with 41 U.S.C. 1907, the component test of the Buy American statute is waived for an

L0:end product that is a COTS item. Unless otherwise specified, this clause applies to all

L0:line items in the contract.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(c) The Contractor shall deliver only domestic end products unless, in its offer, it

L0:specified delivery of other end products in the Buy American?Balance of Payments

L0:Program Certificate provision of the solicitation. If the Contractor certified in its offer
L0:that it will deliver a qualifying country end product, the Contractor shall deliver a
L0:qualifying country end product or, at the Contractor's option, a domestic end product.
L1:(d) The contract price does not include duty for end products or components for
L0:which the Contractor will claim duty-free entry.
L0:(End of clause)

252.225-7002 Qualifying Country Sources as Subcontractors

Status: active

L0:252.225-7002 Qualifying Country Sources as Subcontractors.

L0:As prescribed in 225.601(3), use the following clause:

L0:QUALIFYING COUNTRY SOURCES AS SUBCONTRACTORS (MAR 2022)

L1:(a) Definition. "Qualifying country," as used in this clause, means a country with a
L0:reciprocal defense procurement memorandum of understanding or international
L0:agreement with the United States in which both countries agree to remove barriers to
L0:purchases of supplies produced in the other country or services performed by sources of
L0:the other country, and the memorandum or agreement complies, where applicable, with
L0:the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and
L0:with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia
L0:Austria
L0:Belgium
L0:Canada
L0:Czech Republic
L0:Denmark
L0:Egypt
L0:Estonia
L0:Finland
L0:France
L0:Germany
L0:Greece
L0:Israel
L0:Italy
L0:Japan
L0:Latvia
L0:Lithuania
L0:Luxembourg
L0:Netherlands
L0:Norway
L0:Poland
L0:Portugal
L0:Slovenia
L0:Spain

L0:Sweden

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L1:(b) Subject to the restrictions in section 225.872 of the Defense FAR Supplement,

L0:the Contractor shall not preclude qualifying country sources or U.S. sources from

L0:competing for subcontracts under this contract.

L0:(End of clause)

252.225-7003 Report of Intended Performance Outside the United States and

Status: active

L0:252.225-7003 Report of Intended Performance Outside the United States and

L0:Canada?Submission with Offer.

L0:As prescribed in 225.7204(a), use the following provision:

L0:REPORT OF INTENDED PERFORMANCE OUTSIDE THE UNITED STATES AND

L0:CANADA?SUBMISSION WITH OFFER (OCT 2025)

L1:(a) Definition. ?United States,? as used in this provision, means the 50 States, the

L0:District of Columbia, and outlying areas.

L1:(b) The Offeror shall submit, with its offer, a report of intended performance outside

L0:the United States and Canada if?

L1:(1) The offer exceeds \$20 million in value; and

L1:(2) The Offeror is aware that the Offeror or a first-tier subcontractor intends to

L0:perform any part of the contract outside the United States and Canada that?

L1:(i) Exceeds \$900,000 in value; and

L1:(ii) Could be performed inside the United States or Canada.

L1:(c) Information to be reported includes that for?

L1:(1) Subcontracts;

L1:(2) Purchases; and

L1:(3) Intracompany transfers when transfers originate in a foreign location.

L1:(d) The Offeror shall submit the report using?

L1:(1) DD Form 2139, Report of Contract Performance Outside the United States;

L0:or

L1:(2) A computer-generated report that contains all information required by DD

L0:Form 2139.

L1:(e) The Offeror may obtain a copy of DD Form 2139 from the Contracting Officer or

L0:via the Internet at <http://www.dtic.mil/whs/directives/infomgt/forms/formsprogram.htm>.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:(End of provision)

252.225-7004 Report of Intended Performance Outside the United States and

Status: active

L0:252.225-7004 Report of Intended Performance Outside the United States and
L0:Canada?Submission after Award.

L0:As prescribed in 225.7204(b), use the following clause:

L0:REPORT OF INTENDED PERFORMANCE OUTSIDE THE UNITED STATES AND L0:CANADA?SUBMISSION AFTER AWARD (JUL 2024)

L1:(a) Definition. ?United States,? as used in this clause, means the 50 States, the
L0:District of Columbia, and outlying areas.

L1:(b) Reporting requirement. The Contractor shall submit a report in accordance with
L0:this clause, if the Contractor or a first-tier subcontractor will perform any part of this
L0:contract outside the United States and Canada that?

L1:(1) Exceeds the threshold specified in Defense Acquisition Regulation
L0:Supplement 225.7201(a); and

L1:(2) Could be performed inside the United States or Canada.

L1:(c) Submission of reports. The Contractor?

L1:(1) Shall submit a report as soon as practical after the information is known;

L1:(2) To the maximum extent practicable, shall submit a report regarding a first-
L0:tier subcontractor at least 30 days before award of the subcontract;

L1:(3) Need not resubmit information submitted with its offer, unless the
L0:information changes;

L1:(4) Shall submit all reports to the Contracting Officer; and

L1:(5) Shall submit a copy of each report to: Principal Director, Defense Pricing,
L0:Contracting, and Acquisition Policy (Contract Policy), OUSD(A&S) DPCAP/CP,
L0:Washington, DC 20301-3060.

L1:(d) Report format. The Contractor?

L1:(1) Shall submit reports using?

L1:(i) DD Form 2139, Report of Contract Performance Outside the United
L0:States; or

L1:(ii) A computer-generated report that contains all information required by
L0:DD Form 2139; and

L1:(2) May obtain copies of DD Form 2139 from the Contracting Officer or via the
L0:Internet at <https://www.esd.whs.mil/Directives/forms/>.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

252.225-7005 Identification of Expenditures in the United States

Status: active

L0:252.225-7005 Identification of Expenditures in the United States.

L0:As prescribed in 225.603(1), use the following clause:

L0:IDENTIFICATION OF EXPENDITURES IN THE UNITED STATES (JUN 2005)

L1:(a) Definition. "United States," as used in this clause, means the 50 States, the District of Columbia, and outlying areas.

L1:(b) This clause applies only if the Contractor is?

L1:(1) A concern incorporated in the United States (including a subsidiary that is

L0:incorporated in the United States, even if the parent corporation is not incorporated in

L0:the United States); or

L1:(2) An unincorporated concern having its principal place of business in the

L0:United States.

L1:(c) On each invoice, voucher, or other request for payment under this contract, the

L0:Contractor shall identify that part of the requested payment that represents estimated

L0:expenditures in the United States. The identification?

L1:(1) May be expressed either as dollar amounts or as percentages of the total

L0:amount of the request for payment;

L1:(2) Should be based on reasonable estimates; and

L1:(3) Shall state the full amount of the payment requested, subdivided into the

L0:following categories:

L1:(i) U.S. products?expenditures for material and equipment manufactured

L0:or produced in the United States, including end products, components, or construction

L0:material, but excluding transportation;

L1:(ii) U.S. services?expenditures for services performed in the United States,

L0:including all charges for overhead, other indirect costs, and profit under construction or

L0:service contracts;

L1:(iii) Transportation on U.S. carriers?expenditures for transportation

L0:furnished by U.S. flag, ocean, surface, and air carriers; and

L1:(iv) Expenditures not identified under paragraphs (c)(3)(i) through (iii) of

L0:this clause.

L1:(d) Nothing in this clause requires the establishment or maintenance of detailed

L0:accounting records or gives the U.S. Government any right to audit the Contractor's

L0:books or records.

L0:(End of clause)

252.225-7006 Acquisition of the American Flag

Status: active

L0:252.225-7006 Acquisition of the American Flag.

L0:As prescribed in 225.7002-3(c), insert the following clause:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:ACQUISITION OF THE AMERICAN FLAG (DEC 2022)

L1:(a) Definition. "United States," as used in this clause, means the 50 States, the

L0:District of Columbia, and outlying areas.

L1:(b) If the Contractor is required to deliver under this contract one or more American

L0:flags (Product or Service Code 8345), such flag(s), including the materials and

L0:components thereof, shall be manufactured in the United States, consistent with the

L0:requirements at 10 U.S.C. 4862 (commonly known as the "Berry Amendment").

L1:(c) This clause does not apply to the acquisition of any end items or components

L0:related to flying or displaying the flag (e.g., flagpoles and accessories).

L0:(End of clause)

252.225-7008 Restriction on Acquisition of Specialty Metals

Status: active

L0:252.225-7008 Restriction on Acquisition of Specialty Metals.

L0:As prescribed in 252.7003-5(a)(1), use the following clause:

L0:RESTRICTION ON ACQUISITION OF SPECIALTY METALS (MAR 2013)

L1:(a) Definitions. As used in this clause?

L0:"Alloy" means a metal consisting of a mixture of a basic metallic element and one or more metallic, or non-metallic, alloying elements.

L1:(i) For alloys named by a single metallic element (e.g., titanium alloy), it means

L0:that the alloy contains 50 percent or more of the named metal (by mass).

L1:(ii) If two metals are specified in the name (e.g, nickel-iron alloy), those metals

L0:are the two predominant elements in the alloy, and together they constitute 50 percent

L0:or more of the alloy (by mass).

L0:"Produce" means?

L1:(i) Atomization;

L1:(ii) Sputtering; or

L1:(iii) Final consolidation of non-melt derived metal powders.

L0:"Specialty metal" means?

L1:(i) Steel?

L1:(A) With a maximum alloy content exceeding one or more of the following

L0:limits: manganese, 1.65 percent; silicon, 0.60 percent; or copper, 0.60 percent; or

L1:(B) Containing more than 0.25 percent of any of the following elements:

L0:aluminum, chromium, cobalt, molybdenum, nickel, niobium (columbium), titanium,

L0:tungsten, or vanadium;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(ii) Metal alloys consisting of?

L1:(A) Nickel or iron-nickel alloys that contain a total of alloying metals other

L0:than nickel and iron in excess of 10 percent; or

L1:(B) Cobalt alloys that contain a total of alloying metals other than cobalt

L0:and iron in excess of 10 percent;

L1:(iii) Titanium and titanium alloys; or

L1:(iv) Zirconium and zirconium alloys.

L0:"Steel" means an iron alloy that includes between .02 and 2 percent carbon and may

L0:include other elements.

L1:(b) Any specialty metal delivered under this contract shall be melted or produced in

L0:the United States or its outlying areas.

L0:(End of clause)

252.225-7009 Restriction on Acquisition of Certain Articles Containing

Status: active

L0:252.225-7009 Restriction on Acquisition of Certain Articles Containing

L0:Specialty Metals.

L0:As prescribed in 225.7003-5(a)(2), use the following clause:

L0:RESTRICTION ON ACQUISITION OF CERTAIN ARTICLES CONTAINING

L0:SPECIALTY METALS (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Alloy? means a metal consisting of a mixture of a basic metallic element and one or

L0:more metallic, or non-metallic, alloying elements.

L1:(i) For alloys named by a single metallic element (e.g., titanium alloy), it means

L0:that the alloy contains 50 percent or more of the named metal (by mass).

L1:(ii) If two metals are specified in the name (e.g, nickel-iron alloy), those metals

L0:are the two predominant elements in the alloy, and together they constitute 50 percent

L0:or more of the alloy (by mass).

L0:Assembly? means an item forming a portion of a system or subsystem that?

L1:(i) Can be provisioned and replaced as an entity; and

L1:(ii) Incorporates multiple, replaceable parts.

L0:Commercial derivative military article? means an item acquired by the Department

L0:of Defense that is or will be produced using the same production facilities, a common

L0:supply chain, and the same or similar production processes that are used for the

L0:production of articles predominantly used by the general public or by nongovernmental

L0:entities for purposes other than governmental purposes.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Commercially available off-the-shelf item??

L1:(i) Means any item of supply that is?

L1:(A) A commercial product (as defined in paragraph (1) of the definition of

L0:commercial product? in section 2.101 of the Federal Acquisition Regulation);

L1:(B) Sold in substantial quantities in the commercial marketplace; and

L1:(C) Offered to the Government, under this contract or a subcontract at any

L0:tier, without modification, in the same form in which it is sold in the commercial

L0:marketplace; and

L1:(ii) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as

L0:agricultural products and petroleum products.

L0:Component? means any item supplied to the Government as part of an end item or

L0:of another component.

L0:Electronic component? means an item that operates by controlling the flow of

L0:electrons or other electrically charged particles in circuits, using interconnections of

L0:electrical devices such as resistors, inductors, capacitors, diodes, switches, transistors,

L0:or integrated circuits. The term does not include structural or mechanical parts of an

L0:assembly containing an electronic component, and does not include any high

L0:performance magnets that may be used in the electronic component.

L0:End item? means the final production product when assembled or completed and

L0:ready for delivery under a line item of this contract.

L0:?High performance magnet? means a permanent magnet that obtains a majority of

L0:its magnetic properties from rare earth metals (such as samarium).

L0:?Produce? means?

L1:(i) Atomization;

L1:(ii) Sputtering; or

L1:(iii) Final consolidation of non-melt derived metal powders.

L0:?Qualifying country? means any country listed in the definition of ?Qualifying

L0:country? at 225.003 of the Defense Federal Acquisition Regulation Supplement

L1:(DFARS).

L0:?Specialty metal? means?

L1:(i) Steel?

L1:(A) With a maximum alloy content exceeding one or more of the following

L0:limits: manganese, 1.65 percent; silicon, 0.60 percent; or copper, 0.60 percent; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(B) Containing more than 0.25 percent of any of the following elements:

L0:aluminum, chromium, cobalt, molybdenum, nickel, niobium (columbium), titanium,

L0:tungsten, or vanadium;

L1:(ii) Metal alloys consisting of?

L1:(A) Nickel or iron-nickel alloys that contain a total of alloying metals other

L0:than nickel and iron in excess of 10 percent; or

L1:(B) Cobalt alloys that contain a total of alloying metals other than cobalt

L0:and iron in excess of 10 percent;

L1:(iii) Titanium and titanium alloys; or

L1:(iv) Zirconium and zirconium alloys.

L0:?Steel? means an iron alloy that includes between .02 and 2 percent carbon and may

L0:include other elements.

L0:?Subsystem? means a functional grouping of items that combine to perform a major

L0:function within an end item, such as electrical power, attitude control, and propulsion.

L1:(b) Restriction. Except as provided in paragraph (c) of this clause, any specialty

L0:metals incorporated in items delivered under this contract shall be melted or produced

L0:in the United States, its outlying areas, or a qualifying country.

L1:(c) Exceptions. The restriction in paragraph (b) of this clause does not apply to?

L1:(1) Electronic components.

L2:(2)(i) Commercially available off-the-shelf (COTS) items, other than?

L1:(A) Specialty metal mill products, such as bar, billet, slab, wire, plate, or

L0:sheet, that have not been incorporated into COTS end items, subsystems, assemblies,

L0:or components;

L0:castings are incorporated into COTS end items, subsystems, or assemblies;

L1:(B) Forgings or castings of specialty metals, unless the forgings or

L1:(C) Commercially available high performance magnets that contain

L0:specialty metal, unless such high performance magnets are incorporated into COTS end

L0:items or subsystems; and

L1:(D) COTS fasteners, unless?

L0:subsystems, assemblies, or components; or

L1:(1) The fasteners are incorporated into COTS end items,

L0:paragraph (c)(3) of this clause.

L1:(2) The fasteners qualify for the commercial product exception in

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(ii) A COTS item is considered to be "without modification" if it is not

L0:modified prior to contractual acceptance by the next higher tier in the supply chain.

L1:(A) Specialty metals in a COTS item that was accepted without

L0:modification by the next higher tier are excepted from the restriction in paragraph (b) of

L0:this clause, and remain excepted, even if a piece of the COTS item subsequently is

L0:removed (e.g., the end is removed from a COTS screw or an extra hole is drilled in a

L0:COTS bracket).

L1:(B) Specialty metals that were not contained in a COTS item upon

L0:acceptance, but are added to the COTS item after acceptance, are subject to the

L0:restriction in paragraph (b) of this clause (e.g., a special reinforced handle made of

L0:specialty metal is added to a COTS item).

L1:(C) If two or more COTS items are combined in such a way that the

L0:resultant item is not a COTS item, only the specialty metals involved in joining the

L0:COTS items together are subject to the restriction in paragraph (b) of this clause (e.g., a

L0:COTS aircraft is outfitted with a COTS engine that is not the COTS engine normally

L0:provided with the aircraft).

L1:(D) For COTS items that are normally sold in the commercial

L0:marketplace with various options, items that include such options are also COTS items.

L0:However, if a COTS item is offered to the Government with an option that is not

L0:normally offered in the commercial marketplace, that option is subject to the restriction

L0:in paragraph (b) of this clause (e.g. - An aircraft is normally sold to the public with an

L0:option for installation kits. The Department of Defense requests a military-unique kit.

L0:The aircraft is still a COTS item, but the military-unique kit is not a COTS item and

L0:must comply with the restriction in paragraph (b) of this clause unless another

L0:exception applies).

L1:(3) Fasteners that are commercial products, if the manufacturer of the fasteners

L0:certifies it will purchase, during the relevant calendar year, an amount of domestically

L0:melted or produced specialty metal, in the required form, for use in the production of

L0:fasteners for sale to the Department of Defense and other customers, that is not less

L0:than 50 percent of the total amount of the specialty metal that it will purchase to carry

L0:out the production of such fasteners for all customers.

L1:(4) Items manufactured in a qualifying country.

L1:(5) Specialty metals for which the Government has determined in accordance

L0:with DFARS 225.7003-3 that specialty metal melted or produced in the United States,

L0:its outlying areas, or a qualifying country cannot be acquired as and when needed in?

L1:(i) A satisfactory quality;

L1:(ii) A sufficient quantity; and

L1:(iii) The required form. In accordance with 10 U.S.C. 4863(m)(4), the term

L0:"required form" in this clause refers to the form of the mill product, such as bar, billet,

L0:wire, slab, plate, or sheet, in the grade appropriate for the production of a finished end
 L0:item to be delivered to the Government under this contract; or a finished component
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
 L0:Defense FAR Supplement (DFARS) Part 225
 L0:assembled into an end item to be delivered to the Government under this contract.
 L1:(6) End items containing a minimal amount of otherwise noncompliant
 L0:specialty metals (i.e., specialty metals not melted or produced in the United States, an
 L0:outlying area, or a qualifying country, that are not covered by one of the other
 L0:exceptions in this paragraph (c)), if the total weight of such noncompliant metals does
 L0:not exceed 2 percent of the total weight of all specialty metals in the end item, as
 L0:estimated in good faith by the Contractor. This exception does not apply to high
 L0:performance magnets containing specialty metals.
 L1:(d) Compliance for commercial derivative military articles.
 L1:(1) As an alternative to the compliance required in paragraph (b) of this clause,
 L0:the Contractor may purchase an amount of domestically melted or produced specialty
 L0:metals in the required form, for use during the period of contract performance in the
 L0:production of the commercial derivative military article and the related commercial
 L0:article, if?
 L1:(i) The Contracting Officer has notified the Contractor of the items to be
 L0:delivered under this contract that have been determined by the Government to meet
 L0:the definition of "commercial derivative military article"; and
 L1:(ii) For each item that has been determined by the Government to meet the
 L0:definition of "commercial derivative military article," the Contractor has certified, as
 L0:specified in the provision of the solicitation entitled "Commercial Derivative Military
 L0:Article?Specialty Metals Compliance Certificate" (DFARS 252.225-7010), that the
 L0:Contractor and its subcontractor(s) will enter into a contractual agreement or
 L0:agreements to purchase an amount of domestically melted or produced specialty metal
 L0:in the required form, for use during the period of contract performance in the production
 L0:of each commercial derivative military article and the related commercial article, that is
 L0:not less than the Contractor's good faith estimate of the greater of?
 L1:(A) An amount equivalent to 120 percent of the amount of specialty
 L0:metal that is required to carry out the production of the commercial derivative military
 L0:article (including the work performed under each subcontract); or
 L1:(B) An amount equivalent to 50 percent of the amount of specialty
 L0:metal that will be purchased by the Contractor and its subcontractors for use during
 L0:such period in the production of the commercial derivative military article and the
 L0:related commercial article.
 L1:(2) For the purposes of this alternative, the amount of specialty metal that is
 L0:required to carry out production of the commercial derivative military article includes
 L0:specialty metal contained in any item, including COTS items.
 L1:(e) Subcontracts.
 L1:(1) The Contractor shall exclude and reserve paragraph (d) and this paragraph
 L2:(e)(1) when flowing down this clause to subcontracts.
 L1:(2) The Contractor shall insert paragraphs (a) through (c) and this paragraph
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L2:(e)(2) of this clause in subcontracts, including subcontracts for commercial products,

L0:that are for items containing specialty metals to ensure compliance of the end products

L0:that the Contractor will deliver to the Government. When inserting this clause in

L0:subcontracts, the Contractor shall?

L1:(i) Modify paragraph (c)(6) of this clause only as necessary to facilitate

L0:management of the minimal content exception at the prime contract level. The minimal

L0:content exception does not apply to specialty metals contained in high-performance

L0:magnets; and

L1:(ii) Not further alter the clause other than to identify the appropriate parties.

L0:(End of clause)

252.225-7010 Commercial Derivative Military Article?Specialty Metals

Status: active

L0:252.225-7010 Commercial Derivative Military Article?Specialty Metals

L0:Compliance Certificate.

L0:As prescribed in 252.7003-5(b), use the following provision:

L0:COMMERCIAL DERIVATIVE MILITARY ARTICLE?SPECIALTY METALS

L0:COMPLIANCE CERTIFICATE (JUL 2009)

L1:(a) Definitions. ?Commercial derivative military article,? ?commercially available

L0:off-the-shelf item,? ?produce,? ?required form,? and ?specialty metal,? as used in this

L0:provision, have the meanings given in the clause of this solicitation entitled ?Restriction

L0:on Acquisition of Certain Articles Containing Specialty Metals? (DFARS 252.225-7009).

L1:(b) The offeror shall list in this paragraph any commercial derivative military

L0:articles it intends to deliver under any contract resulting from this solicitation using the

L0:alternative compliance for commercial derivative military articles, as specified in

L0:paragraph (d) of the clause of this solicitation entitled ?Restriction on Acquisition of

L0:Certain Articles Containing Specialty Metals? (DFARS 252.225-7009). The offeror?s

L0:designation of an item as a ?commercial derivative military article? will be subject to

L0:Government review and approval.

L0:_____

L0:_____.

L1:(c) If the offeror has listed any commercial derivative military articles in paragraph

L1:(b) of this provision, the offeror certifies that, if awarded a contract as a result of this

L0:solicitation, and if the Government approves the designation of the listed item(s) as

L0:commercial derivative military articles, the offeror and its subcontractor(s) will

L0:demonstrate that individually or collectively they have entered into a contractual

L0:agreement or agreements to purchase an amount of domestically melted or produced

L0:specialty metal in the required form, for use during the period of contract performance

L0:in the production of each commercial derivative military article and the related

L0:commercial article, that is not less than the Contractor?s good faith estimate of the

L0:greater of?

L1:(1) An amount equivalent to 120 percent of the amount of specialty metal that

L0:is required to carry out the production of the commercial derivative military article
L0:(including the work performed under each subcontract); or
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L1:(2) An amount equivalent to 50 percent of the amount of specialty metal that
L0:will be purchased by the Contractor and its subcontractors for use during such period in
L0:the production of the commercial derivative military article and the related commercial
L0:article.
L1:(d) For the purposes of this provision, the amount of specialty metal that is required
L0:to carry out the production of the commercial derivative military article includes
L0:specialty metal contained in any item, including commercially available off-the-shelf
L0:items, incorporated into such commercial derivative military articles.
L0:(End of provision)

252.225-7011 Restriction on Acquisition of Supercomputers

Status: active

L0:252.225-7011 Restriction on Acquisition of Supercomputers.
L0:As prescribed in 225.7012-3, use the following clause:
L0:RESTRICTION ON ACQUISITION OF SUPERCOMPUTERS (JUN 2005)
L0:Supercomputers delivered under this contract shall be manufactured in the United
L0:States or its outlying areas.
L0:(End of clause)

252.225-7012 Preference for Certain Domestic Commodities

Status: active

L0:252.225-7012 Preference for Certain Domestic Commodities.
L0:As prescribed in 225.7002-3(a), use the following clause:
L0:PREFERENCE FOR CERTAIN DOMESTIC COMMODITIES (APR 2022)
L1:(a) Definitions. As used in this clause?
L0:?Component? means any item supplied to the Government as part of an end product
L0:or of another component.
L0:?End product? means supplies delivered under a line item of this contract.
L0:?Qualifying country? means a country with a reciprocal defense procurement
L0:memorandum of understanding or international agreement with the United States in
L0:which both countries agree to remove barriers to purchases of supplies produced in the
L0:other country or services performed by sources of the other country, and the
L0:memorandum or agreement complies, where applicable, with the requirements of
L0:section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457.
L0:Accordingly, the following are qualifying countries:
L0:Australia
L0:Austria

L0:Belgium
L0:Canada
L0:Czech Republic
L0:Denmark
L0:Egypt
L0:Estonia
L0:Finland
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L0:France
L0:Germany
L0:Greece
L0:Israel
L0:Italy
L0:Japan
L0:Latvia
L0:Lithuania
L0:Luxembourg
L0:Netherlands
L0:Norway
L0:Poland
L0:Portugal
L0:Slovenia
L0:Spain
L0:Sweden
L0:Switzerland
L0:Turkey
L0:United Kingdom of Great Britain and Northern Ireland.
L0:?Structural component of a tent??
L1:(1) Means a component that contributes to the form and stability of the tent
L0:(e.g., poles, frames, flooring, guy ropes, pegs); and
L1:(2) Does not include equipment such as heating, cooling, or lighting.
L0:?United States? means the 50 States, the District of Columbia, and outlying areas.
L0:?U.S.-flag vessel? means a vessel of the United States or belonging to the United
L0:States, including any vessel registered or having national status under the laws of the
L0:United States.
L1:(b) The Contractor shall deliver under this contract only such of the following items,
L0:either as end products or components, that have been grown, reprocessed, reused, or
L0:produced in the United States:
L1:(1) Food.
L1:(2) Clothing and the materials and components thereof, other than sensors,
L0:electronics, or other items added to, and not normally associated with, clothing and the
L0:materials and components thereof. Clothing includes items such as outerwear,
L0:headwear, underwear, nightwear, footwear, hosiery, handwear, belts, badges, and
L0:insignia.

L2:(3)(i) Tents and structural components of tents;

L1:(ii) Tarpaulins; or

L1:(iii) Covers.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(4) Cotton and other natural fiber products.

L1:(5) Woven silk or woven silk blends.

L1:(6) Spun silk yarn for cartridge cloth.

L1:(7) Synthetic fabric, and coated synthetic fabric, including all textile fibers and

L0:yarns that are for use in such fabrics.

L1:(8) Canvas products.

L1:(9) Wool (whether in the form of fiber or yarn or contained in fabrics, materials,

L0:or manufactured articles).

L1:(10) Any item of individual equipment (Federal Supply Class 8465)

L0:manufactured from or containing fibers, yarns, fabrics, or materials listed in this

L0:paragraph (b).

L1:(c) This clause does not apply?

L1:(1) To items listed in section 25.104(a) of the Federal Acquisition Regulation, or

L0:other items for which the Government has determined that a satisfactory quality and

L0:sufficient quantity cannot be acquired as and when needed at U.S. market prices;

L1:(2) To incidental amounts of cotton, other natural fibers, or wool incorporated in

L0:an end product, for which the estimated value of the cotton, other natural fibers, or

L0:wool?

L1:(i) Is not more than 10 percent of the total price of the end product; and

L1:(ii) Does not exceed the threshold at Defense Federal Acquisition Regulation

L0:Supplement 225.7002-2(a);

L1:(3) To waste and byproducts of cotton or wool fiber for use in the production of

L0:propellants and explosives;

L1:(4) To foods, other than fish, shellfish, or seafood, that have been manufactured

L0:or processed in the United States, regardless of where the foods (and any component if

L0:applicable) were grown or produced. Fish, shellfish, or seafood manufactured or

L0:processed in the United States and fish, shellfish, or seafood contained in foods

L0:manufactured or processed in the United States shall be provided in accordance with

L0:paragraph (d) of this clause;

L1:(5) To chemical warfare protective clothing produced in a qualifying country; or

L1:(6) To fibers and yarns that are for use in synthetic fabric or coated synthetic

L0:fabric (but does apply to the synthetic or coated synthetic fabric itself), if?

L1:(i) The fabric is to be used as a component of an end product that is not a

L0:textile product. Examples of textile products, made in whole or in part of fabric,

L0:include?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Group 72, Household and Commercial Furnishings and Appliances);

L1:(A) Draperies, floor coverings, furnishings, and bedding (Federal Supply

L1:(B) Items made in whole or in part of fabric in Federal Supply Group

L0:83, Textile/leather/furs/apparel/findings/tents/flags, or Federal Supply Group 84,
 L0:Clothing, Individual Equipment and Insignia;
 L1:(C) Upholstered seats (whether for household, office, or other use); and
 L1:(D) Parachutes (Federal Supply Class 1670); or
 L1:(ii) The fibers and yarns are para-aramid fibers and continuous filament
 L0:para-aramid yarns manufactured in a qualifying country.
 L2:(d)(1) Fish, shellfish, and seafood delivered under this contract, or contained in foods
 L0:delivered under this contract?
 L1:(i) Shall be taken from the sea by U.S.-flag vessels; or
 L1:(ii) If not taken from the sea, shall be obtained from fishing within the
 L0:United States; and
 L1:(2) Any processing or manufacturing of the fish, shellfish, or seafood shall be
 L0:performed on a U.S.-flag vessel or in the United States.

252.225-7013 Duty-Free Entry

Status: active

L0:252.225-7013 Duty-Free Entry.
 L0:As prescribed in 225.601(4), use the following clause:
 L0:(End of clause)
L0:DUTY-FREE ENTRY (AUG 2025)
 L1:(a) Definitions. As used in this clause?
 L0:Component, means any item supplied to the Government as part of an end product
 L0:or of another component.
 L0:Customs territory of the United States means the 50 States, the District of
 L0:Columbia, and Puerto Rico.
 L0:Eligible product means?
 L1:(1) Designated country end product, as defined in the Trade Agreements
 L0:(either basic or alternate) clause of this contract;
 L1:(2) Free Trade Agreement country end product, other than a Bahraini end
 L0:product, a Moroccan end product, a Panamanian end product, or a Peruvian end
 L0:product, as defined in the Buy American Free Trade Agreements Balance of
 L0:Payments Program (either basic or alternate II) clause of this contract, basic or its
 L0:Alternate II; or
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
 L0:Defense FAR Supplement (DFARS) Part 225
 L1:(3) Free Trade Agreement country end product other than a Bahraini end
 L0:product, Korean end product, Moroccan end product, Panamanian end product, or
 L0:Peruvian end product, as defined in of the Buy American Free Trade Agreements?
 L0:Balance of Payments Program (either alternate IV or alternate V) clause of this
 L0:contract.
 L0:Qualifying country and qualifying country end product have the meanings given
 L0:in the Trade Agreements clause, the Buy American and Balance of Payments Program
 L0:clause, or the Buy American Free Trade Agreements Balance of Payments Program

L0:clause of this contract, basic or alternate.

L1:(b) Except as provided in paragraph (i) of this clause, or unless supplies were

L0:imported into the customs territory of the United States before the date of this contract

L0:or the applicable subcontract, the price of this contract shall not include any amount for

L0:duty on?

L1:(1) End items that are eligible products or qualifying country end products;

L1:(2) Components (including, without limitation, raw materials and intermediate

L0:assemblies) produced or made in qualifying countries, that are to be incorporated in

L0:U.S.- made end products to be delivered under this contract; or

L1:(3) Other supplies for which the Contractor estimates that duty will exceed

L0:\$300 per shipment into the customs territory of the United States.

L1:(c) The Contractor shall?

L1:(1) Claim duty-free entry only for supplies that the Contractor intends to deliver

L0:to the Government under this contract, either as end items or components of end items;

L0:and

L1:(2) Pay duty on supplies, or any portion thereof, that are diverted to

L0:nongovernmental use, other than?

L1:(i) Scrap or salvage; or

L1:(ii) Competitive sale made, directed, or authorized by the Contracting

L0:Officer.

L1:(d) Except as the Contractor may otherwise agree, the Government will execute

L0:duty-free entry certificates and will afford such assistance as appropriate to obtain the

L0:duty-free entry of supplies?

L1:(1) For which no duty is included in the contract price in accordance with

L0:paragraph (b) of this clause; and

L1:(2) For which shipping documents bear the notation specified in paragraph (e)

L0:of this clause.

L1:(e) For foreign supplies for which the Government will issue duty-free entry

L0:certificates in accordance with this clause, shipping documents submitted to Customs

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:shall?

L1:(1) Consign the shipments to the appropriate?

L1:(i) Military department in care of the Contractor, including the Contractor?s

L0:delivery address; or

L1:(ii) Military installation; and

L1:(2) Include the following information:

L1:(i) Prime contract number and, if applicable, delivery order number.

L1:(ii) Number of the subcontract for foreign supplies, if applicable.

L1:(iii) Identification of the carrier.

L2:(iv)(A) For direct shipments to a U.S. military installation, the notation:

L0:UNITED STATES GOVERNMENT, DEPARTMENT OF DEFENSE Duty-Free Entry

L0:to be claimed pursuant to Section XXII, Chapter 98, Subchapter VIII, Item 9808.00.30

L0:of the Harmonized Tariff Schedule of the United States. Upon arrival of shipment at

L0:the appropriate port of entry, District Director of Customs, please release shipment

L0:under 19 CFR Part 142 and notify Defense Contract Management Agency (DCMA) St. Louis, MO, ATTN: Duty Free Entry Team, 1222 Spruce Street, Room 9.300, St. Louis, MO 63103-2812, for execution of Customs Form 7501, 7501A, or 7506 and any required duty-free entry certificates.?

L1:(B) If the shipment will be consigned to other than a military

L0:installation, e.g., a domestic contractor's plant, the shipping document notation shall be

L0:altered to include the name and address of the contractor, agent, or broker who will

L0:notify DCMA St. Louis, Duty Free Entry Team, for execution of the duty-free entry

L0:certificate. (If the shipment will be consigned to a contractor's plant and no duty-free

L0:entry certificate is required due to a trade agreement, the Contractor shall claim duty-

L0:free entry under the applicable trade agreement and shall comply with the U.S.

L0:Customs Service requirements. No notification to DCMA St. Louis, Duty Free Entry

L0:Team, is required.)

L1:(v) Gross weight in pounds (if freight is based on space tonnage, state cubic

L0:feet in addition to gross shipping weight).

L1:(vi) Estimated value in U.S. dollars.

L1:(vii) Activity address number of the contract administration office

L0:administering the prime contract, e.g., for DCMA Dayton, S3605A.

L1:(f) Preparation of customs forms.

L2:(1)(i) Except for shipments consigned to a military installation, the Contractor

L0:shall?

L1:(A) Prepare any customs forms required for the entry of foreign supplies

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:into the customs territory of the United States in connection with this contract; and

L1:(B) Submit the completed customs forms to the District Director of

L0:Customs, with a copy to DCMA St. Louis, Duty Free Entry Team for execution of any

L0:required duty-free entry certificates.

L1:(ii) Shipments consigned directly to a military installation will be released

L0:in accordance with sections 10.101 and 10.102 of the U.S. Customs regulations.

L1:(2) For shipments containing both supplies that are to be accorded duty-free

L0:entry and supplies that are not, the Contractor shall identify on the customs forms

L0:those items that are eligible for duty-free entry.

L1:(g) The Contractor shall?

L1:(1) Prepare (if the Contractor is a foreign supplier), or shall instruct the foreign

L0:supplier to prepare, a sufficient number of copies of the bill of lading (or other shipping

L0:document) so that at least two of the copies accompanying the shipment will be

L0:available for use by the District Director of Customs at the port of entry;

L1:(2) Consign the shipment as specified in paragraph (e) of this clause; and

L1:(3) Mark on the exterior of all packages?

L1:(i) ?UNITED STATES GOVERNMENT, DEPARTMENT OF DEFENSE?;

L0:and

L1:(ii) The activity address number of the contract administration office

L0:administering the prime contract.

L1:(h) The Contractor shall notify the Administrative Contracting Officer (ACO) in

L0:writing of any purchase of eligible products or qualifying country supplies to be
L0:accorded duty-free entry, that are to be imported into the customs territory of the
L0:United States for delivery to the Government or for incorporation in end items to be
L0:delivered to the Government. The Contractor shall furnish the notice to the ACO
L0:immediately upon award to the supplier and shall include in the notice?
L1:(1) The Contractor's name, address, and Commercial and Government Entity
L1:(CAGE) code;
L1:(2) Prime contract number and, if applicable, delivery order number;
L1:(3) Total dollar value of the prime contract or delivery order;
L1:(4) Date of the last scheduled delivery under the prime contract or delivery
L0:order;
L1:(5) Foreign supplier's name and address;
L1:(6) Number of the subcontract for foreign supplies;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L1:(7) Total dollar value of the subcontract for foreign supplies;
L1:(8) Date of the last scheduled delivery under the subcontract for foreign
L0:supplies;
L1:(9) List of items purchased;
L1:(10) An agreement that the Contractor will pay duty on supplies, or any portion
L0:thereof, that are diverted to nongovernmental use other than?
L1:(i) Scrap or salvage; or
L1:(ii) Competitive sale made, directed, or authorized by the Contracting
L0:Officer;
L1:(11) Country of origin; and
L1:(12) Scheduled delivery date(s).
L1:(i) This clause does not apply to purchases of eligible products or qualifying country
L0:supplies in connection with this contract if?
L1:(1) The supplies are identical in nature to supplies purchased by the Contractor
L0:or any subcontractor in connection with its commercial business; and
L1:(2) It is not economical or feasible to account for such supplies so as to ensure
L0:that the amount of the supplies for which duty-free entry is claimed does not exceed the
L0:amount purchased in connection with this contract.
L1:(j) The Contractor shall?
L1:(1) Insert the substance of this clause, including this paragraph (j), in all
L0:subcontracts for?
L1:(i) Qualifying country components; or
L1:(ii) Nonqualifying country components for which the Contractor estimates
L0:that duty will exceed \$200 per unit;
L1:(2) Require subcontractors to include the number of this contract on all shipping
L0:documents submitted to Customs for supplies for which duty-free entry is claimed
L0:pursuant to this clause; and
L1:(3) Include in applicable subcontracts?
L1:(i) The name and address of the ACO for this contract;
L1:(ii) The name, address, and activity address number of the contract

L0:administration office specified in this contract; and
L1:(iii) The information required by paragraphs (h)(1), (2), and (3) of this
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L0:clause.

252.225-7014 Reserved

Status: active

L0:252.225-7014 Reserved.
L0:(End of clause)

252.225-7015 Restriction on Acquisition of Hand or Measuring Tools

Status: active

L0:252.225-7015 Restriction on Acquisition of Hand or Measuring Tools.
L0:As prescribed in 225.7002-3(b), use the following clause:
L0:RESTRICTION ON ACQUISITION OF HAND OR MEASURING TOOLS
L0:(JUN 2005)
L0:Hand or measuring tools delivered under this contract shall be produced in the United
L0:States or its outlying areas.
L0:(End of clause)

252.225-7016 Restriction on Acquisition of Ball and Roller Bearings

Status: active

L0:252.225-7016 Restriction on Acquisition of Ball and Roller Bearings.
L0:As prescribed in 225.7009-5, use the following clause:
L0:RESTRICTION ON ACQUISITION OF BALL AND ROLLER BEARINGS
L0:(JAN 2023)
L1:(a) Definitions. As used in this clause?
L1:(1) ?Bearing components? means the bearing element, retainer, inner race, or
L0:outer race.
L1:(2) ?Component,? other than a bearing component, means any item supplied to
L0:the Government as part of an end product or of another component.
L1:(3) ?End product? means supplies delivered under a line item of this contract.
L1:(b) Except as provided in paragraph (c) of this clause?
L1:(1) Each ball and roller bearing delivered under this contract shall be
L0:manufactured in the United States, its outlying areas, or Canada; and
L1:(2) For each ball or roller bearing, the cost of the bearing components
L0:manufactured in the United States, its outlying areas, or Canada shall exceed 50
L0:percent of the total cost of the bearing components of that ball or roller bearing.
L0:.

L1:(c) The restriction in paragraph (b) of this clause does not apply to ball or roller
L0:bearings that are acquired as?

L1:(1) Commercial components of an other than commercial end product; or

L1:(2) Commercial or other than commercial components of a commercial
L0:component of an other than commercial end product.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(d) The restriction in paragraph (b) of this clause may be waived upon request from

L0:the Contractor in accordance with subsection 225.7009-4 of the Defense Federal
L0:Acquisition Regulation Supplement.

L1:(e) If this contract includes DFARS clause 252.225-7009, Restriction on Acquisition

L0:of Certain Articles Containing Specialty Metals, all bearings that contain specialty
L0:metals, as defined in that clause, must meet the requirements of that clause.

L1:(f) Subcontracts. The Contractor shall insert the substance of this clause, including
L0:this paragraph (f), in all subcontracts, except those for?

L1:(1) Commercial products; or

L1:(2) Items that do not contain ball or roller bearings.

L0:(End of clause)

252.225-7017 Photovoltaic Devices

Status: active

L0:252.225-7017 Photovoltaic Devices.

L0:As prescribed in 225.7017-4(a), use the following clause:

L0:PHOTOVOLTAIC DEVICES (MAR 2024)

L1:(a) Definitions. As used in this clause?

L0:?'Bahraini photovoltaic device?' means a photovoltaic device that?

L1:(1) Is wholly manufactured in Bahrain; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of

L0:materials from another country, has been substantially transformed in Bahrain into

L0:a new and different article of commerce with a name, character, or use distinct from

L0:that of the article or articles from which it was transformed, provided that the

L0:photovoltaic device is not subsequently substantially transformed outside of

L0:Bahrain.

L0:?'Caribbean Basin country photovoltaic device?' means a photovoltaic device that?

L1:(1) Is wholly manufactured in a Caribbean Basin country; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of

L0:materials from another country, has been substantially transformed in a Caribbean

L0:Basin country into a new and different article of commerce with a name, character, or

L0:use distinct from that of the article or articles from which it was transformed, provided

L0:that the photovoltaic device is not subsequently substantially transformed outside of a

L0:Caribbean Basin country.

L0:?'Designated country?' means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO)

L0:GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, L0:Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25 L0:Defense FAR Supplement (DFARS) Part 225 L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), L0:Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, L0:Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, L0:Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in L0:the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, L0:Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom); L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, L0:Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic L0:of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore); L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, L0:Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, L0:Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, L0:Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, L0:Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, L0:Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, L0:Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, L0:Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, L0:Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent L0:and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago). L0: ?Designated country photovoltaic device? means a WTO GPA country photovoltaic L0:device, a Free Trade Agreement country photovoltaic device, a least developed country L0:photovoltaic device, or a Caribbean Basin country photovoltaic device. L0: ?Domestic photovoltaic device? means a photovoltaic device that is manufactured in L0:the United States L0: ?Foreign photovoltaic device? means a photovoltaic device other than a domestic L0:photovoltaic device. L0: ?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa L0:Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), L0:Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore. L0: ?Free Trade Agreement country photovoltaic device? means a photovoltaic device L0:that? L1:(1) Is wholly manufactured in a Free Trade Agreement country; or L1:(2) In the case of a photovoltaic device that consists in whole or in part of L0:materials from another country, has been substantially transformed in a Free Trade L0:Agreement country into a new and different article of commerce with a name, L0:character, or use distinct from that of the article or articles from which it was L0:transformed, provided that the photovoltaic device is not subsequently substantially L0:transformed outside of a Free Trade Agreement country. L0: ?Korean photovoltaic device? means a photovoltaic device that? L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(1) Is wholly manufactured in Korea (Republic of); or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of

L0:materials from another country, has been substantially transformed in Korea (Republic

L0:of) into a new and different article of commerce with a name, character, or use distinct

L0:from that of the article or articles from which it was transformed, provided that the

L0:photovoltaic device is not subsequently substantially transformed outside of Korea

L0:(Republic of).

L0:?Least developed country photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in a least developed country; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of

L0:materials from another country, has been substantially transformed in a least

L0:developed country into a new and different article of commerce with a name, character,

L0:or use distinct from that of the article or articles from which it was transformed,

L0:provided that the photovoltaic device is not subsequently substantially transformed

L0:outside of a least developed country.

L0:?Moroccan photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in Morocco; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of

L0:materials from another country, has been substantially transformed in Morocco into a

L0:new and different article of commerce with a name, character, or use distinct from that

L0:of the article or articles from which it was transformed, provided that the photovoltaic

L0:device is not subsequently substantially transformed outside of Morocco.

L0:?Panamanian photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in Panama; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of

L0:materials from another country, has been substantially transformed in Panama into

L0:a new and different article of commerce with a name, character, or use distinct from

L0:that of the article or articles from which it was transformed, provided that the

L0:photovoltaic device is not subsequently substantially transformed outside of

L0:Panama.

L0:?Peruvian photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in Peru; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of

L0:materials from another country, has been substantially transformed in Peru into a new

L0:and different article of commerce with a name, character, or use distinct from that of

L0:the article or articles from which it was transformed, provided that the photovoltaic

L0:device is not subsequently substantially transformed outside of Peru.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:?Photovoltaic device? means a device that converts light directly into electricity

L0:through a solid-state, semiconductor process.

L0:?Qualifying country? means a country with a reciprocal defense procurement

L0:memorandum of understanding or international agreement with the United States in

L0:which both countries agree to remove barriers to purchases of supplies produced in the

L0:other country or services performed by sources of the other country, and the
L0:memorandum or agreement complies, where applicable, with the requirements of
L0:section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457.

L0:Accordingly, the following are qualifying countries:

L0:Australia
L0:Austria
L0:Belgium
L0:Canada
L0:Czech Republic
L0:Denmark
L0:Egypt
L0:Estonia
L0:Finland
L0:France
L0:Germany
L0:Greece
L0:Israel
L0:Italy
L0:Japan
L0:Latvia
L0:Lithuania
L0:Luxembourg
L0:Netherlands
L0:Norway
L0:Poland
L0:Portugal
L0:Slovenia
L0:Spain
L0:Sweden
L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country photovoltaic device? means a photovoltaic device manufactured
L0:in a qualifying country.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L0:?U.S.-made photovoltaic device? means a photovoltaic device that?

L1:(1) Is manufactured in the United States; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) Is substantially transformed in the United States into a new and different

L0:article of commerce with a name, character, or use distinct from that of the article or

L0:articles from which it was transformed, provided that the photovoltaic device is not

L0:subsequently substantially transformed outside of the United States.

L0:?WTO GPA country photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in a WTO GPA country; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of
L0:materials from another country, has been substantially transformed in a WTO GPA
L0:country into a new and different article of commerce with a name, character, or use
L0:distinct from that of the article or articles from which it was transformed, provided that
L0:the photovoltaic device is not subsequently substantially transformed outside of a WTO
L0:GPA country.

L1:(b) This clause implements section 846 of the National Defense Authorization Act
L0:for Fiscal Year 2011 (Pub. L. 111-383).

L1:(c) Restriction. If the Contractor specified in its offer in the Photovoltaic Devices?
L0:Certificate provision of the solicitation that the estimated value of the photovoltaic
L0:devices to be utilized in performance of this contract would be?

L1:(1) More than the micro-purchase threshold but less than \$100,000, then the
L0:Contractor shall utilize only domestic photovoltaic devices unless, in its offer, it
L0:specified utilization of qualifying country or other foreign photovoltaic devices in
L0:paragraph (d)(2) of the Photovoltaic Devices?Certificate provision of the solicitation.

L1:(2) \$100,000 or more but less than \$102,280, then the Contractor shall utilize
L0:under this contract only domestic photovoltaic devices unless, in its offer, it specified
L0:utilization of Free Trade Agreement country photovoltaic devices (other than Bahraini,
L0:Korean, Moroccan, Panamanian, or Peruvian photovoltaic devices), qualifying country
L0:photovoltaic devices, or other foreign photovoltaic devices in paragraph (d)(4) of the
L0:Photovoltaic Devices?Certificate provision of the solicitation. If the Contractor
L0:certified in its offer that it will utilize a Free Trade Agreement country photovoltaic
L0:device (other than a Bahraini, Korean, Moroccan, Panamanian, or Peruvian
L0:photovoltaic device) or a qualifying country photovoltaic device, then the Contractor
L0:shall utilize a Free Trade Agreement country photovoltaic device (other than a
L0:Bahraini, Korean, Moroccan, Panamanian, or Peruvian photovoltaic device) or a
L0:qualifying country photovoltaic device; or, at the Contractor?s option, a domestic
L0:photovoltaic device;

L1:(3) \$100,000 or more but less than \$174,000, then the Contractor shall utilize
L0:under this contract only domestic photovoltaic devices, unless, in its offer it specified
L0:utilization of Free Trade Agreement country photovoltaic devices (other than Bahraini,
L0:Moroccan, Panamanian, or Peruvian photovoltaic devices), qualifying country
L0:photovoltaic devices, or other foreign photovoltaic devices in paragraph (d)(5) of the
L0:Photovoltaic Devices?Certificate provision of the solicitation. If the Contractor
L0:certified in its offer that it will utilize a Free Trade Agreement country photovoltaic
L0:device (other than a Bahraini, Moroccan, Panamanian, or Peruvian photovoltaic device)
L0:or a qualifying country photovoltaic device, then the Contractor shall utilize a Free
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

L0:Trade Agreement country photovoltaic device (other than a Bahraini, Moroccan,
L0:Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic
L0:device; or, at the Contractor?s option, a domestic photovoltaic device; or

L1:(4) \$174,000 or more, then the Contractor shall utilize under this contract only
L0:U.S.-made, designated country, or qualifying country photovoltaic devices.

252.225-7018 Photovoltaic Devices?Certificate

Status: active

L0:252.225-7018 Photovoltaic Devices?Certificate.

L0:As prescribed in 225.7017-4(b), use the following provision:

L0:(End of clause)

L0:PHOTOVOLTAIC DEVICES?CERTIFICATE (MAR 2024)

L1:(a) Definitions. ?Bahraini photovoltaic device,? ?Caribbean Basin photovoltaic

L0:device,? ?designated country,? ?designated country photovoltaic device,? ?domestic

L0:photovoltaic device,? ?foreign photovoltaic device,? ?Free Trade Agreement country,?

L0:?Free Trade Agreement photovoltaic device,? ?Korean photovoltaic device,? ?least

L0:developed country photovoltaic device,? ?Moroccan photovoltaic device,? ?Panamanian

L0:photovoltaic device,? ?Peruvian photovoltaic device,? ?photovoltaic device,? ?qualifying

L0:country,? ?qualifying country photovoltaic device,? ?United States,? ?U.S.-made

L0:photovoltaic device,? and ?WTO GPA country photovoltaic device? have the meanings

L0:given in the Photovoltaic Devices clause of this solicitation.

L1:(b) Restrictions. The following restrictions apply, depending on the estimated

L0:aggregate value of photovoltaic devices to be utilized under a resultant contract:

L1:(1) If more than the micro-purchase threshold but less than \$174,000, then the

L0:Government will not accept an offer specifying the use of other foreign photovoltaic

L0:devices in paragraph (d)(2)(ii), (d)(3)(ii), (d)(4)(ii), or (d)(5)(ii) of this provision, unless the

L0:Offeror documents to the satisfaction of the Contracting Officer that the price of the

L0:foreign photovoltaic device plus 50 percent is less than the price of a comparable

L0:domestic photovoltaic device.

L1:(2) If \$174,000 or more, then the Government will consider only offers that

L0:utilize photovoltaic devices that are U.S.-made, qualifying country, or designated

L0:country photovoltaic devices.

L1:(c) Country in which a designated country photovoltaic device was wholly

L0:manufactured or was substantially transformed. If the estimated value of the

L0:photovoltaic devices to be utilized under a resultant contract exceeds \$102,280, the

L0:Offeror?s certification that such photovoltaic device (e.g., solar panel) is a designated

L0:country photovoltaic device shall be consistent with country of origin determinations by

L0:the U.S. Customs and Border Protection with regard to importation of the same or

L0:similar photovoltaic devices into the United States. If the Offeror is uncertain as to

L0:what the country of origin would be determined to be by the U.S. Customs and Border

L0:Protection, the Offeror shall request a determination from U.S. Customs and Border

L0:Protection. (See <https://www.cbp.gov/trade/rulings>.)

L1:(d) Certification and identification of country of origin.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:[The Offeror shall check the block and fill in the blank for one of the following

L0:paragraphs, based on the estimated value and the country of origin of photovoltaic

L0:devices to be utilized in performance of the contract:]

L0:___ (1) No photovoltaic devices will be utilized in performance of the contract, or

L0:such photovoltaic devices have an estimated value that does not exceed the micro-

L0:purchase threshold.

L1:(2) If more than the micro-purchase threshold but less than \$100,000?

L0:___ (i) The Offeror certifies that each photovoltaic device to be utilized in

L0:performance of the contract is a domestic photovoltaic device;

L0:___ (ii) The Offeror certifies that each photovoltaic device to be utilized in

L0:performance of the contract is a qualifying country photovoltaic device [Offeror to specify

L0:country of origin_____]; or

L0:___ (iii) The foreign (other than qualifying country) photovoltaic devices to be

L0:utilized in performance of the contract are the product of _____. [Offeror

L0:to specify country of origin, if known, and provide documentation that the cost of a

L0:domestic photovoltaic device would be unreasonable in comparison to the cost of the

L0:proposed foreign photovoltaic device, i.e. that the price of the foreign photovoltaic device

L0:plus 50 percent is less than the price of a comparable domestic photovoltaic device.]

L1:(3) If less than \$100,000?

L0:___ (i) The Offeror certifies that each photovoltaic device to be utilized in

L0:performance of the contract is a domestic photovoltaic device;

L0:___ (ii) The Offeror certifies that each photovoltaic device to be utilized in

L0:performance of the contract is a qualifying country photovoltaic device [Offeror to specify

L0:country of origin_____]; or

L0:___ (iii) The foreign photovoltaic devices to be utilized in performance of the

L0:contract are the product of _____. [Offeror to specify country of origin, if

L0:known, and provide documentation that the cost of a domestic photovoltaic device would

L0:be unreasonable in comparison to the cost of the proposed foreign photovoltaic device, i.e.

L0:that the price of the foreign photovoltaic device plus 50 percent is less than the price of a

L0:comparable domestic photovoltaic device.]

L1:(4) If \$100,000 or more but less than \$102,280?

L0:___ (i) The Offeror certifies that each photovoltaic device to be utilized in

L0:performance of the contract is a domestic photovoltaic device;

L0:___ (ii) The Offeror certifies that each photovoltaic device to be utilized in

L0:performance of the contract is a Free Trade Agreement country photovoltaic device

L0:(other than a Bahraini, Korean, Moroccan, Panamanian, or Peruvian photovoltaic

L0:device) or a qualifying country photovoltaic device [Offeror to specify country of

L0:origin_____]; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:___ (iii) The offered foreign photovoltaic devices (other than those from

L0:countries listed in paragraph (d)(4)(ii) of this provision) are the product of

L0:_____. [Offeror to specify country of origin, if known, and provide

L0:documentation that the cost of a domestic photovoltaic device would be unreasonable in

L0:comparison to the cost of the proposed foreign photovoltaic device, i.e. that the price of the

L0:foreign photovoltaic device plus 50 percent is less than the price of a comparable domestic

L0:photovoltaic device.]

L1:(5) If \$100,000 or more but less than \$174,000?

L0:___ (i) The Offeror certifies that each photovoltaic device to be utilized in

L0:performance of the contract is a domestic photovoltaic device;

L0:___ (ii) The Offeror certifies that each photovoltaic device to be utilized in
L0:performance of the contract is a Free Trade Agreement country photovoltaic device
L0:(other than a Bahraini, Moroccan, Panamanian, or Peruvian photovoltaic device) or a
L0:qualifying country photovoltaic device [Offeror to specify country of origin_____];
L0:or
L0:___ (iii) The offered foreign photovoltaic devices (other than those from
L0:countries listed in paragraph (d)(5)(ii) of this provision) are the product of _____.
L0:[Offeror to specify country of origin, if known, and provide documentation that the cost of
L0:a domestic photovoltaic device would be unreasonable in comparison to the cost of the
L0:proposed foreign photovoltaic device, i.e. that the price of the foreign photovoltaic device
L0:plus 50 percent is less than the price of a comparable domestic photovoltaic device.]
L1:(6) If \$174,000 or more, the Offeror certifies that each photovoltaic device to be
L0:used in performance of the contract is?
L0:___ (i) A U.S.-made photovoltaic device; or
L0:___ (ii) A designated country photovoltaic device or a qualifying country
L0:photovoltaic device. [Offeror to specify country of origin_____].
L0:(End of provision)

252.225-7019 Restriction on Acquisition of Anchor and Mooring Chain

Status: active

L0:252.225-7019 Restriction on Acquisition of Anchor and Mooring Chain.
L0:As prescribed in 225.7004-7(a), use the following clause:
L0:RESTRICTION ON ACQUISITION OF ANCHOR AND MOORING CHAIN
L0:(MAY 2024)
L1:(a) Definition. As used in this clause?
L0:?"Component?" means an article, material, or supply incorporated directly into an end
L0:product.
L1:(b) Welded shipboard anchor and mooring chain delivered under this contract?
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L1:(1) Shall be manufactured in the United States or its outlying areas, including
L0:cutting, heat treating, quality control, testing, and welding (both forging and shot
L0:blasting process); and
L1:(2) The cost of the components manufactured in the United States or its
L0:outlying areas shall exceed 50 percent of the total cost of components.
L1:(c) The Contractor may request a waiver of this restriction if adequate domestic
L0:supplies meeting the requirements in paragraph (a) of this clause are not available to
L0:meet the contract delivery schedule.
L1:(d) The Contractor shall insert the substance of this clause, including this
L0:paragraph (d), in all subcontracts for items containing welded shipboard anchor and
L0:mooring chain.
L0:(End of clause)

252.225-7020 Trade Agreements Certificate

Status: active

L0:252.225-7020 Trade Agreements Certificate.

L0:Basic. As prescribed in 225.601(5), use the following provision:

L0:TRADE AGREEMENTS CERTIFICATE?BASIC (NOV 2014)

L1:(a) Definitions. ?Designated country end product,? ?nondesignated country end

L0:product,? ?qualifying country end product,? and ?U.S.-made end product? as used in this

L0:provision have the meanings given in the Trade Agreements?Basic clause of this

L0:solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of Part

L0:225 of the Defense Federal Acquisition Regulation Supplement; and

L1:(2) Will consider only offers of end products that are U.S.-made, qualifying

L0:country, or designated country end products unless?

L1:(i) There are no offers of such end products;

L1:(ii) The offers of such end products are insufficient to fulfill the

L0:Government?s requirements; or

L1:(iii) A national interest waiver has been granted.

L1:(c) Certification and identification of country of origin.

L1:(1) For all line items subject to the Trade Agreements?Basic clause of this

L0:solicitation, the offeror certifies that each end product to be delivered under this

L0:contract, except those listed in paragraph (c)(2) of this provision, is a U.S.-made,

L0:qualifying country, or designated country end product.

L1:(2) The following supplies are other nondesignated country end products:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:(Line Item Number)

L0:(Country of Origin)

L0:(End of provision)

L0:Alternate I. [Reserved]

252.225-7021 Trade Agreements

Status: active

L0:252.225-7021 Trade Agreements.

L0:Basic. As prescribed in 225.601(6), use the following clause:

L0:TRADE AGREEMENTS?BASIC (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Caribbean Basin country end product??

L1:(1) Means an article that?

L1:(i) Is wholly the growth, product, or manufacture of a Caribbean Basin

L0:country; or

L1:(ii) In the case of an article that consists in whole or in part of materials

L0:from another country, has been substantially transformed in a Caribbean Basin country
 L0:into a new and different article of commerce with a name, character, or use distinct
 L0:from that of the article or articles from which it was transformed. The term refers to a
 L0:product offered for purchase under a supply contract, but for purposes of calculating the
 L0:value of the end product includes services (except transportation services) incidental to
 L0:its supply, provided that the value of those incidental services does not exceed the value
 L0:of the product itself; and

L1:(2) Excludes products, other than petroleum and any product derived from

L0:petroleum, that are not granted duty-free treatment under the Caribbean Basin

L0:Economic Recovery Act (19 U.S.C. 2703(b)). These exclusions presently consist of?

L1:(i) Textiles, apparel articles, footwear, handbags, luggage, flat goods, work

L0:gloves, leather wearing apparel, and handloomed, handmade, or folklore articles that

L0:are not granted duty-free status in the Harmonized Tariff Schedule of the United States

L1:(HTSUS);

L1:(ii) Tuna, prepared or preserved in any manner in airtight containers; and

L1:(iii) Watches and watch parts (including cases, bracelets, and straps) of

L0:whatever type, including, but not limited to, mechanical, quartz digital, or quartz

L0:analog, if such watches or watch parts contain any material that is the product of any

L0:country to which the HTSUS column 2 rates of duty (HTSUS General Note 3(b)) apply.

L0:Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(i) A commercial product (as defined in paragraph (1) of the definition of

L0:commercial product? in section 2.101 of the Federal Acquisition Regulation);

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier,

L0:without modification, in the same form in which it is sold in the commercial

L0:marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as

L0:agricultural products and petroleum products.

L0:Component? means an article, material, or supply incorporated directly into an end

L0:product.

L0:Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO

L0:GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada,

L0:Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of),

L0:Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro,

L0:Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania,

L0:Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in

L0:the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu,

L0:Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia,

L0:Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic

L0:of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin,

L0:Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros,

L0:Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia,

L0:Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi,

L0:Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe,

L0:Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste,

L0:Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas,

L0:Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada,

L0:Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent

L0:and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:Designated country end product? means a WTO GPA country end product, a Free

L0:Trade Agreement country end product, a least developed country end product, or a

L0:Caribbean Basin country end product.

L0:End product? means those articles, materials, and supplies to be acquired under

L0:this contract for public use.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement

L0:country; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in a Free Trade Agreement

L0:country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term

L0:refers to a product offered for purchase under a supply contract, but for purposes of

L0:calculating the value of the end product includes services (except transportation

L0:services) incidental to its supply, provided that the value of those incidental services

L0:does not exceed the value of the product itself.

L0:Least developed country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country;

L0:or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in a least developed country into a

L0:new and different article of commerce with a name, character, or use distinct from that

L0:of the article or articles from which it was transformed. The term refers to a product

L0:offered for purchase under a supply contract, but for purposes of calculating the value of

L0:the end product includes services (except transportation services) incidental to its

L0:supply, provided that the value of those incidental services does not exceed the value of

L0:the product itself.

L0:Nondesignated country end product? means any end product that is not a U.S.-

L0:made end product or a designated country end product.

L0:Qualifying country? means a country with a reciprocal defense procurement

L0:memorandum of understanding or international agreement with the United States in

L0:which both countries agree to remove barriers to purchases of supplies produced in the
L0:other country or services performed by sources of the other country, and the
L0:memorandum or agreement complies, where applicable, with the requirements of
L0:section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457.

L0:Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country;

L0:or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the

L0:cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:starting in calendar year 2029, unless an alternate percentage is established for a

L0:contract:

L1:(A) Components mined, produced, or manufactured in a qualifying

L0:country.

L0:States.

L1:(B) Components mined, produced, or manufactured in the United

L1:(C) Components of foreign origin of a class or kind for which the

L0:Government has determined that sufficient and reasonably available commercial

L0:quantities of a satisfactory quality are not mined, produced, or manufactured in the

L0:United States; or

L1:(ii) The end product is a COTS item.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L0:U.S.-made end product? means an article that?

L1:(1) Is mined, produced, or manufactured in the United States; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) Is substantially transformed in the United States into a new and different

L0:article of commerce with a name, character, or use distinct from that of the article or

L0:articles from which it was transformed.

L0:WTO GPA country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in a WTO GPA country into a new

L0:and different article of commerce with a name, character, or use distinct from that of

L0:the article or articles from which it was transformed. The term refers to a product

L0:offered for purchase under a supply contract, but for purposes of calculating the value of

L0:the end product includes services (except transportation services) incidental to its

L0:supply, provided that the value of those incidental services does not exceed the value of

L0:the product itself.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only U.S.-made, qualifying

L0:country, or designated country end products unless?

L1:(1) In its offer, the Contractor specified delivery of other nondesignated country

L0:end products in the Trade Agreements Certificate provision of the solicitation; and

L2:(2)(i) Offers of U.S.-made, qualifying country, or designated country end

L0:products from responsive, responsible offerors are either not received or are insufficient

L0:to fill the Government's requirements; or

L1:(ii) A national interest waiver has been granted.

L1:(d) The contract price does not include duty for end products or components for

L0:which the Contractor will claim duty-free entry.

L1:(e) The HTSUS is available at <http://www.usitc.gov/tata/hts/bychapter/index.htm>.

L0:The following sections of the HTSUS provide information regarding duty-free status of

L0:articles specified in the definition of ?Caribbean Basic country end product? within

L0:paragraph (a) of this clause:

L1:(1) General Note 3(c), Products Eligible for Special Tariff Treatment.

L1:(2) General Note 17, Products of Countries Designated as Beneficiary Countries

L0:Under the United States?Caribbean Basin Trade Partnership Act of 2000.

L1:(3) Section XXII, Chapter 98, Subchapter II, Articles Exported and Returned,

L0:Advanced or Improved Abroad, U.S. Note 7(b).

L1:(4) Section XXII, Chapter 98, Subchapter XX, Goods Eligible for Special Tariff

L0:Benefits Under the United States?Caribbean Basin Trade Partnership Act.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Alternate I. [Reserved.]

L0:Alternate II. [Reserved.]

L0:Alternate III. As prescribed in 225.601(6) and (6)(i), use the following clause, which

L0:includes, in the definition of ?qualifying country end product? at paragraph (2)(i), the

L0:domestic content threshold that will apply to the entire contract period of performance.

L0:TRADE AGREEMENTS?ALTERNATE III (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Caribbean Basin country end product??

L1:(1) Means an article that?

L1:(i) Is wholly the growth, product, or manufacture of a Caribbean Basin

L0:country; or

L1:(ii) In the case of an article that consists in whole or in part of materials

L0:from another country, has been substantially transformed in a Caribbean Basin country

L0:into a new and different article of commerce with a name, character, or use distinct

L0:from that of the article or articles from which it was transformed. The term refers to a

L0:product offered for purchase under a supply contract, but for purposes of calculating the

L0:value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value

L0:of the product itself; and

L1:(2) Excludes products, other than petroleum and any product derived from

L0:petroleum, that are not granted duty-free treatment under the Caribbean Basin

L0:Economic Recovery Act (19 U.S.C. 2703(b)). These exclusions presently consist of?

L1:(i) Textiles, apparel articles, footwear, handbags, luggage, flat goods, work

L0:gloves, leather wearing apparel, and handloomed, handmade, or folklore articles that

L0:are not granted duty-free status in the Harmonized Tariff Schedule of the United States

L1:(HTSUS);

L1:(ii) Tuna, prepared or preserved in any manner in airtight containers; and

L1:(iii) Watches and watch parts (including cases, bracelets, and straps) of

L0:whatever type, including, but not limited to, mechanical, quartz digital, or quartz

L0:analog, if such watches or watch parts contain any material that is the product of any

L0:country to which the HTSUS column 2 rates of duty (HTSUS General Note 3(b)) apply.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of

L0:?commercial product? in section 2.101 of the Federal Acquisition Regulation);

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier,

L0:without modification, in the same form in which it is sold in the commercial

L0:marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as

L0:agricultural products and petroleum products.

L0:Component? means an article, material, or supply incorporated directly into an end

L0:product.

L0:Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO

L0:GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada,

L0:Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of),

L0:Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro,

L0:Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania,

L0:Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in

L0:the World Trade Organization as the Separate Customs Territory of Taiwan, Penghu,

L0:Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia,

L0:Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic

L0:of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin,

L0:Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros,

L0:Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia,

L0:Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi,

L0:Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe,

L0:Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste,

L0:Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas,

L0:Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada,

L0:Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent

L0:and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:Designated country end product? means a WTO GPA country end product, a Free

L0:Trade Agreement country end product, a least developed country end product, or a

L0:Caribbean Basin country end product.

L0:End product? means those articles, materials, and supplies to be acquired under

L0:this contract for public use.

L0:Free Trade Agreement country end product? means an article that?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement

L0:country; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in a Free Trade Agreement

L0:country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term

L0:refers to a product offered for purchase under a supply contract, but for purposes of

L0:calculating the value of the end product includes services (except transportation

L0:services) incidental to its supply, provided that the value of those incidental services

L0:does not exceed the value of the product itself.

L0:?Least developed country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country;

L0:or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in a least developed country into a

L0:new and different article of commerce with a name, character, or use distinct from that

L0:of the article or articles from which it was transformed. The term refers to a product

L0:offered for purchase under a supply contract, but for purposes of calculating the value of

L0:the end product includes services (except transportation services) incidental to its

L0:supply, provided that the value of those incidental services does not exceed the value of

L0:the product itself.

L0:?Nondesignated country end product? means any end product that is not a U.S.-

L0:made end product or a designated country end product.

L0:?Qualifying country? means a country with a reciprocal defense procurement

L0:memorandum of understanding or international agreement with the United States in

L0:which both countries agree to remove barriers to purchases of supplies produced in the

L0:other country or services performed by sources of the other country, and the

L0:memorandum or agreement complies, where applicable, with the requirements of

L0:section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457.

L0:Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country;

L0:or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire

L0:period of performance for a contract awarded in: calendar year 2023, 60 percent of the

L0:cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all

L0:its components; or calendar year 2029 or later, 75 percent of the cost of all its

L0:components:

L1:(A) Components mined, produced, or manufactured in a qualifying

L0:country.

L0:States.

L1:(B) Components mined, produced, or manufactured in the United

L1:(C) Components of foreign origin of a class or kind for which the

L0:Government has determined that sufficient and reasonably available commercial

L0:quantities of a satisfactory quality are not mined, produced, or manufactured in the

L0:United States; or

L1:(ii) The end product is a COTS item.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L0:?U.S.-made end product? means an article that?

L1:(1) Is mined, produced, or manufactured in the United States; or

L1:(2) Is substantially transformed in the United States into a new and different

L0:article of commerce with a name, character, or use distinct from that of the article or

L0:articles from which it was transformed.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:?WTO GPA country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in a WTO GPA country into a new

L0:and different article of commerce with a name, character, or use distinct from that of

L0:the article or articles from which it was transformed. The term refers to a product

L0:offered for purchase under a supply contract, but for purposes of calculating the value of

L0:the end product includes services (except transportation services) incidental to its

L0:supply, provided that the value of those incidental services does not exceed the value of

L0:the product itself.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only U.S.-made, qualifying

L0:country, or designated country end products unless?

L1:(1) In its offer, the Contractor specified delivery of other nondesignated country

L0:end products in the Trade Agreements Certificate provision of the solicitation; and

L2:(2)(i) Offers of U.S.-made, qualifying country, or designated country end

L0:products from responsive, responsible offerors are either not received or are insufficient

L0:to fill the Government's requirements; or

L1:(ii) A national interest waiver has been granted.

L1:(d) The contract price does not include duty for end products or components for

L0:which the Contractor will claim duty-free entry.

L1:(e) The HTSUS is available at <http://www.usitc.gov/tata/hts/bychapter/index.htm>.

L0:The following sections of the HTSUS provide information regarding duty-free status of

L0:articles specified in the definition of "Caribbean Basin country end product" within

L0:paragraph (a) of this clause:

L1:(1) General Note 3(c), Products Eligible for Special Tariff Treatment.

L1:(2) General Note 17, Products of Countries Designated as Beneficiary Countries

L0:Under the United States-Caribbean Basin Trade Partnership Act of 2000.

L1:(3) Section XXII, Chapter 98, Subchapter II, Articles Exported and Returned,

L0:Advanced or Improved Abroad, U.S. Note 7(b).

L1:(4) Section XXII, Chapter 98, Subchapter XX, Goods Eligible for Special Tariff

L0:Benefits Under the United States-Caribbean Basin Trade Partnership Act.

L0:Alternate IV. [Reserved]

252.225-7022 Reserved

Status: active

L0:252.225-7022 Reserved.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

252.225-7023 [Reserved]

Status: active

L0:252.225-7023 [Reserved]

252.225-7024 [Reserved]

Status: active

L0:252.225-7024 [Reserved]

252.225-7025 Restriction on Acquisition of Forgings

Status: active

L0:252.225-7025 Restriction on Acquisition of Forgings.

L0:As prescribed in 225.7102-4, use the following clause:

L0:RESTRICTION ON ACQUISITION OF FORGINGS (DEC 2009)

L1:(a) Definitions. As used in this clause?

L1:(1) ?Component? means any item supplied to the Government as part of an end

L0:product or of another component.

L1:(2) ?Domestic manufacture? means manufactured in the United States, its

L0:outlying areas; or Canada.

L1:(3) ?Forging items? means?

L0:ITEMS

L0:CATEGORIES

L0:Ship propulsion shafts

L0:Periscope tubes

L0:Ring forgings for bull gears

L0:Excludes service and landing craft shafts

L0:All

L0:All greater than 120 inches in diameter

L1:(b) End products and their components delivered under this contract shall contain

L0:forging items that are of domestic manufacture only.

L1:(c) The restriction in paragraph (b) of this clause may be waived upon request from

L0:the Contractor in accordance with subsection 225.7102-3 of the Defense Federal

L0:Acquisition Regulation Supplement.

L1:(d) The Contractor shall retain records showing compliance with the restriction in

L0:paragraph (b) of this clause until 3 years after final payment and shall make the

L0:records available upon request of the Contracting Officer.

L1:(e) The Contractor shall insert the substance of this clause, including this

L0:paragraph (e), in subcontracts for forging items or for other items that contain forging

L0:items.

252.225-7026 [Reserved]

Status: active

L0:252.225-7026 [Reserved]

L0:(End of clause)

252.225-7027 Restriction on Contingent Fees for Foreign Military Sales

Status: active

L0:252.225-7027 Restriction on Contingent Fees for Foreign Military Sales.

L0:As prescribed in 225.7307(a), use the following clause.

L0:RESTRICTION ON CONTINGENT FEES FOR FOREIGN MILITARY SALES

L0:(APR 2003)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(a) Except as provided in paragraph (b) of this clause, contingent fees, as defined in

L0:the Covenant Against Contingent Fees clause of this contract, are generally an

L0:allowable cost, provided the fees are paid to?

L1:(1) A bona fide employee of the Contractor; or

L1:(2) A bona fide established commercial or selling agency maintained by the

L0:Contractor for the purpose of securing business.

L1:(b) For foreign military sales, unless the contingent fees have been identified and

L0:payment approved in writing by the foreign customer before contract award, the

L0:following contingent fees are unallowable under this contract:

L1:(1) For sales to the Government(s) of _____, contingent fees in any amount.

L1:(2) For sales to Governments not listed in paragraph (b)(1) of this clause,

L0:contingent fees exceeding \$50,000 per foreign military sale case.

L0:(End of clause)

252.225-7028 Exclusionary Policies and Practices of Foreign Governments

Status: active

L0:252.225-7028 Exclusionary Policies and Practices of Foreign Governments.

L0:As prescribed in 225.7307(b), use the following clause:

L0:EXCLUSIONARY POLICIES AND PRACTICES OF FOREIGN GOVERNMENTS

L0:(APR 2003)

L0:The Contractor and its subcontractors shall not take into account the exclusionary

L0:policies or practices of any foreign government in employing or assigning personnel, if?

L1:(a) The personnel will perform functions required by this contract, either in the

L0:United States or abroad; and

L1:(b) The exclusionary policies or practices of the foreign government are based on

L0:race, religion, national origin, or sex.

L0:(End of clause)

252.225-7030 Restriction on Acquisition of Carbon, Alloy, and Armor Steel

Status: active

L0:252.225-7030 Restriction on Acquisition of Carbon, Alloy, and Armor Steel

L0:Plate.

L0:As prescribed in 225.7011-3, use the following clause:

L0:RESTRICTION ON ACQUISITION OF CARBON, ALLOY, AND ARMOR STEEL

L0:PLATE (DEC 2006)

L1:(a) Carbon, alloy, and armor steel plate shall be melted and rolled in the United

L0:States or Canada if the carbon, alloy, or armor steel plate?

L1:(1) Is in Federal Supply Class 9515 or is described by specifications of the
L0:American Society for Testing Materials or the American Iron and Steel Institute; and
L2:(2)(i) Will be delivered to the Government for use in a Government-owned
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L0:facility or a facility under the control of the Department of Defense; or
L1:(ii) Will be purchased by the Contractor for use in a Government-owned
L0:facility or a facility under the control of the Department of Defense.
L1:(b) This restriction?
L1:(1) Applies to the acquisition of carbon, alloy, or armor steel plate as a finished
L0:steel mill product that may be used ?as is? or may be used as an intermediate material
L0:for the fabrication of an end product; and
L1:(2) Does not apply to the acquisition of an end product (e.g., a machine tool), to
L0:be used in the facility, that contains carbon, alloy, or armor steel plate as a component.

252.225-7031 Secondary Arab Boycott of Israel

Status: active

L0:252.225-7031 Secondary Arab Boycott of Israel.

L0:As prescribed in 225.7605, use the following provision:

L0:(End of clause)

L0:SECONDARY ARAB BOYCOTT OF ISRAEL (JUN 2005)

L1:(a) Definitions. As used in this provision?

L1:(1) ?Foreign person? means any person (including any individual, partnership,

L0:corporation, or other form of association) other than a United States person.

L1:(2) ?United States? means the 50 States, the District of Columbia, outlying

L0:areas, and the outer Continental Shelf as defined in 43 U.S.C. 1331.

L1:(3) ?United States person? is defined in 50 U.S.C. App. 2415(2) and means?

L1:(i) Any United States resident or national (other than an individual resident

L0:outside the United States who is employed by other than a United States person);

L1:(ii) Any domestic concern (including any permanent domestic establishment

L0:of any foreign concern); and

L1:(iii) Any foreign subsidiary or affiliate (including any permanent foreign

L0:establishment) of any domestic concern that is controlled in fact by such domestic

L0:concern.

L1:(b) Certification. If the offeror is a foreign person, the offeror certifies, by

L0:submission of an offer, that it?

L1:(1) Does not comply with the Secondary Arab Boycott of Israel; and

L1:(2) Is not taking or knowingly agreeing to take any action, with respect to the

L0:Secondary Boycott of Israel by Arab countries, which 50 U.S.C. App. 2407(a) prohibits a

L0:United States person from taking.

L0:(End of provision)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

252.225-7032 Waiver of United Kingdom Levies?Evaluation of Offers

Status: active

L0:252.225-7032 Waiver of United Kingdom Levies?Evaluation of Offers.

L0:As prescribed in 225.601(7), use the following provision:

L0:WAIVER OF UNITED KINGDOM LEVIES - EVALUATION OF OFFERS

L0:(APR 2003)

L1:(a) Offered prices for contracts or subcontracts with United Kingdom (U.K.) firms

L0:may contain commercial exploitation levies assessed by the Government of the U.K.

L0:The offeror shall identify to the Contracting Officer all levies included in the offered

L0:price by describing?

L1:(1) The name of the U.K. firm;

L1:(2) The item to which the levy applies and the item quantity; and

L1:(3) The amount of levy plus any associated indirect costs and profit or fee.

L1:(b) In the event of difficulty in identifying levies included in a price from a

L0:prospective subcontractor, the offeror may seek advice through the Director of

L0:Procurement, United Kingdom Defence Procurement Office, British Embassy, 3100

L0:Massachusetts Avenue NW, Washington, DC 20006.

L1:(c) The U.S. Government may attempt to obtain a waiver of levies pursuant to the

L0:U.S./U.K. reciprocal waiver agreement of July 1987.

L1:(1) If the U.K. waives levies before award of a contract, the Contracting Officer

L0:will evaluate the offer without the levy.

L1:(2) If levies are identified but not waived before award of a contract, the

L0:Contracting Officer will evaluate the offer inclusive of the levies.

L1:(3) If the U.K. grants a waiver of levies after award of a contract, the U.S.

L0:Government reserves the right to reduce the contract price by the amount of the levy

L0:waived plus associated indirect costs and profit or fee.

252.225-7033 Waiver of United Kingdom Levies

Status: active

L0:252.225-7033 Waiver of United Kingdom Levies.

L0:As prescribed in 225.601(8), use the following clause:

L0:(End of provision)

L0:WAIVER OF UNITED KINGDOM LEVIES (APR 2003)

L1:(a) The U.S. Government may attempt to obtain a waiver of any commercial

L0:exploitation levies included in the price of this contract, pursuant to the U.S./United

L0:Kingdom (U.K.) reciprocal waiver agreement of July 1987. If the U.K. grants a waiver

L0:of levies included in the price of this contract, the U.S. Government reserves the right to

L0:reduce the contract price by the amount of the levy waived plus associated indirect costs

L0:and profit or fee.

L1:(b) If the Contractor contemplates award of a subcontract exceeding \$1 million to a

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:U.K. firm, the Contractor shall provide the following information to the Contracting Officer before award of the subcontract:

L1:(1) Name of the U.K. firm.

L1:(2) Prime contract number.

L1:(3) Description of item to which the levy applies.

L1:(4) Quantity being acquired.

L1:(5) Amount of levy plus any associated indirect costs and profit or fee.

L1:(c) In the event of difficulty in identifying levies included in a price from a prospective subcontractor, the Contractor may seek advice through the Director of Procurement, United Kingdom Defence Procurement Office, British Embassy, 3100 Massachusetts Avenue NW, Washington, DC 20006.

L1:(d) The Contractor shall insert the substance of this clause, including this paragraph (d), in any subcontract for supplies where a lower-tier subcontract exceeding \$1 million with a U.K. firm is anticipated.

252.225-7034 Reserved

Status: active

L0:252.225-7034 Reserved.

L0:(End of clause)

252.225-7035 Buy American--Free Trade Agreements--Balance of Payments

Status: active

L0:252.225-7035 Buy American--Free Trade Agreements--Balance of Payments

L0:Program Certificate.

L0:Basic. As prescribed in 225.601(9) and (9)(i), use the following provision:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS

L0:PROGRAM CERTIFICATE?BASIC (FEB 2024)

L1:(a) Definitions. ?Bahraini end product,? ?commercially available off-the-shelf (COTS) item,? ?component,? ?critical component,? ?critical item,? ?domestic end product,? ?Free Trade Agreement country,? ?Free Trade Agreement country end product,? ?foreign end product,? ?Moroccan end product,? ?Panamanian end product,? ?Peruvian end product,? ?qualifying country end product,? and ?United States,? as used in this provision, have the meanings given in the 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program?Basic clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition Regulation Supplement; and

L1:(2) For line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Basic clause of this solicitation, will evaluate offers of qualifying country end products or Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end products, or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Peruvian end products without regard to the restrictions of the Buy American or the

L0:Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?

L0:Balance of Payments Program?Basic clause of this solicitation, the Offeror certifies

L0:that?

L1:(i) Each end product, except the end products listed in paragraph (c)(2) of

L0:this provision, is a domestic end product;

L1:(ii) Each domestic end product listed in paragraph (c)(3) of this provision

L0:contains a critical component or a critical item; and

L1:(iii) Components of unknown origin are considered to have been mined,

L0:produced, or manufactured outside the United States or a qualifying country.

L1:(2) The Offeror shall identify all end products that are not domestic end

L0:products.

L1:(i) The Offeror certifies that the following supplies are qualifying country

L0:(except Australian) end products:

L0:(Line Item Number)

L0:(Country of Origin)

L1:(ii) The Offeror certifies that the following supplies are Free Trade

L0:Agreement country end products other than Bahraini end products, Moroccan end

L0:products, Panamanian end products, or Peruvian end products:

L0:(Line Item Number)

L0:(Country of Origin)

L1:(iii) The following supplies are other foreign end products, including end

L0:products manufactured in the United States that do not qualify as domestic end

L0:products. For those foreign end products that do not consist wholly or predominantly of

L0:iron or steel or a combination of both, the Offeror shall also indicate whether these

L0:foreign end products exceed 55 percent domestic content, except those that are COTS

L0:items. If the percentage of the domestic content is unknown, select ?no?.

L0:Line Item Number

L0:Country of Origin

L0:(If known)

L0:Exceeds 55% Domestic

L0:Content (yes/no)

L1:(3) The Offeror shall list the line item numbers of domestic end products that

L0:contain a critical component or a critical item (see section 25.105 of the Federal

L0:Acquisition Regulation).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Line Item Number: _____[List as necessary]_____

L0:(End of provision)

L0:Alternate I. As prescribed in 225.601(9) and (9)(ii), use the following provision,

L0:which does not use the phrases ?Bahraini end product,? ?Free Trade Agreement

L0:country,? ?Free Trade Agreement country end product,? ?Moroccan end product,?
 L0:?Panamanian end product,? and ?Peruvian end products? in paragraph (a); does not
 L0:use?Free Trade Agreement country end products other than Bahraini end products,
 L0:Moroccan end products, Panamanian end products, or Peruvian end products? in
 L0:paragraphs (b)(2) and (c)(2)(ii); does not use ?Australian or? in paragraph (c)(2)(i); and
 L0:includes ?that are mined, produced, or manufactured in the United States? in
 L0:paragraph (c)(2)(ii):

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS

L0:PROGRAM CERTIFICATE?ALTERNATE I (FEB 2024)

L1:(a) Definitions. ?Commercially available off-the-shelf (COTS) item,? ?component,?
 L0:?critical component,? ?critical item,? ?domestic end product,? ?foreign end product,?
 L0:?qualifying country end product,? and ?United States,? as used in this provision, have
 L0:the meanings given in the 252.225-7036 Buy American?Free Trade Agreements?
 L0:Balance of Payments Program?Alternate I clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of part
 L0:225 of the Defense Federal Acquisition Regulation Supplement; and

L1:(2) For line items subject to the Buy American?Free Trade Agreements?

L0:Balance of Payments Program?Alternate I clause of this solicitation, will evaluate

L0:offers of qualifying country end products without regard to the restrictions of the Buy
 L0:American or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?

L0:Balance of Payments Program?Alternate I clause of this solicitation, the Offeror
 L0:certifies that?

L1:(i) Each end product, except the end products listed in paragraph (c)(2) of
 L0:this provision, is a domestic end product;

L1:(ii) Each domestic end product listed in paragraph (c)(3) of this provision
 L0:contains a critical component or a critical item; and

L1:(iii) Components of unknown origin are considered to have been mined,
 L0:produced, or manufactured outside the United States or a qualifying country.

L1:(2) The Offeror shall identify all end products that are not domestic end
 L0:products.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(i) The Offeror certifies that the following supplies are qualifying country

L0:end products:

L0:(Line Item Number)

L0:(Country of Origin)

L1:(ii) The following supplies are other foreign end products, including end

L0:products manufactured in the United States that do not qualify as domestic end

L0:products. For those foreign end products that do not consist wholly or predominantly of

L0:iron or steel or a combination of both, the Offeror shall also indicate whether these

L0:foreign end products exceed 55 percent domestic content, except those that are COTS

L0:items that are mined, produced, or manufactured in the United States. If the

L0:percentage of the domestic content is unknown, select ?no?.

L0:Line Item Number

L0:Country of Origin

L0:(If known)

L0:Exceeds 55% Domestic

L0:Content (yes/no)

L1:(3) The Offeror shall list the line item numbers of domestic end products that

L0:contain a critical component or a critical item (see section 25.105 of the Federal

L0:Acquisition Regulation).

L0:Line Item Number: _____[List as necessary]_____

L0:(End of provision)

L0:Alternate II. [Reserved]

L0:Alternate III. [Reserved]

L0:Alternate IV. As prescribed in 225.601(9) and (9)(iii), use the following provision,

L0:which adds ?Korean end product? to paragraph (a) and uses ?Free Trade Agreement

L0:country end products other than Bahraini end products, Korean end products,

L0:Moroccan end products, Panamanian end products, or Peruvian end products? in

L0:paragraphs (b)(2) and (c)(2)(ii), rather than ?Free Trade Agreement country end

L0:products other than Bahraini end products, Moroccan end products, Panamanian end

L0:products, or Peruvian end products? in paragraphs (b)(2) and (c)(2)(ii) of the basic

L0:provision:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS

L0:PROGRAM CERTIFICATE?ALTERNATE IV (FEB 2024)

L1:(a) Definitions. ?Bahraini end product,? ?commercially available off-the-shelf

L1:(COTS) item,? ?component,? ?critical component,? ?critical item,? ?domestic end product,?

L0:?Free Trade Agreement country,? ?Free Trade Agreement country end product,? ?foreign

L0:end product,? ?Korean end product,? ?Moroccan end product,? ?Panamanian end

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:product,? ?Peruvian end product,? ?qualifying country end product,? and ?United

L0:States,? as used in this provision, have the meanings given in the 252.225-7036, Buy

L0:American?Free Trade Agreements?Balance of Payments Program?Alternate IV

L0:clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of part

L0:225 of the Defense Federal Acquisition Regulation Supplement; and

L1:(2) For line items subject to the Buy American?Free Trade Agreements?

L0:Balance of Payments Program?Alternate IV clause of this solicitation, will evaluate

L0:offers of qualifying country end products or Free Trade Agreement country end products

L0:other than Bahraini end products, Korean end products, Moroccan end products,

L0:Panamanian end products, or Peruvian end products without regard to the restrictions

L0:of the Buy American or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?

L0:Balance of Payments Program?Alternate IV clause of this solicitation, the Offeror

L0:certifies that?

L1:(i) Each end product, except the end products listed in paragraph (c)(2) of

L0:this provision, is a domestic end product;

L1:(ii) Each domestic end product listed in paragraph (c)(3) of this provision

L0:contains a critical component or a critical item; and

L1:(iii) Components of unknown origin are considered to have been mined,

L0:produced, or manufactured outside the United States or a qualifying country.

L1:(2) The Offeror shall identify all end products that are not domestic end

L0:products.

L1:(i) The Offeror certifies that the following supplies are qualifying country

L0:(except Australian) end products:

L0:(Line Item Number)

L0:(Country of Origin)

L1:(ii) The Offeror certifies that the following supplies are Free Trade

L0:Agreement country end products other than Bahraini end products, Korean end

L0:products, Moroccan end products, Panamanian end products, or Peruvian end products:

L0:(Line Item Number)

L0:(Country of Origin)

L1:(iii) The following supplies are other foreign end products, including end

L0:products manufactured in the United States that do not qualify as domestic end

L0:products. For those foreign end products that do not consist wholly or predominantly of

L0:iron or steel or a combination of both, the Offeror shall also indicate whether these

L0:foreign end products exceed 55 percent domestic content, except those that are COTS

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:items. If the percentage of the domestic content is unknown, select ?no?.

L0:Line item Number

L0:Country of Origin

L0:(If known)

L0:Exceeds 55% Domestic

L0:Content (yes/no)

L1:(3) The Offeror shall list the line item numbers of domestic end products that

L0:contain a critical component or a critical item (see section 25.105 of the Federal

L0:Acquisition Regulation).

L0:Line Item Number: _____[List as necessary]_____

L0:(End of provision)

L0:Alternate V. [Reserved]

252.225-7036 Buy American?Free Trade Agreements?Balance of Payments

Status: active

L0:252.225-7036 Buy American?Free Trade Agreements?Balance of Payments

L0:Program.

L0:Basic. As prescribed in 225.601(10)(i) and (10)(i)(A), use the following clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS

L0:PROGRAM?BASIC (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Bahraini end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in Bahrain into a new and

L0:different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered

L0:for purchase under a supply contract, but for purposes of calculating the value of the

L0:end product includes services (except transportation services) incidental to its supply,

L0:provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of

L0:?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier,

L0:without modification, in the same form in which it is sold in the commercial

L0:marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as

L0:agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end

L0:product.

L0:?Critical component? means a component that is mined, produced, or manufactured

L0:in the United States and deemed critical to the U.S. supply chain. The list of critical

L0:components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that

L0:is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or

L0:steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States;

L0:or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components

L0:that are mined, produced, or manufactured in the United States exceeds 60 percent of

L0:the cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:starting in calendar year 2029, unless an alternate percentage is established for a

L0:contract in accordance with Defense Federal Acquisition Regulation Supplement

L1:(DFARS) 225.101(d); or award is made before January 1, 2030, for a foreign end product

L0:that exceeds 55 percent domestic content (see DFARS 225.103(b)(ii)). The cost of

L0:components includes transportation costs to the place of incorporation into the end

L0:product and U.S. duty (whether or not a duty-free entry certificate is issued).

L0:Components of unknown origin are treated as foreign. Scrap generated, collected, and

L0:prepared for processing in the United States is considered domestic. A component is

L0:considered to have been mined, produced, or manufactured in the United States

L0:(regardless of its source in fact) if the end product in which it is incorporated is

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:manufactured in the United States and the component is of a class or kind for which the

L0:Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a

L0:satisfactory quality are not mined, produced, or manufactured in the United States; or

L0:restrictions of the Buy American statute; or

L1:(2) It is inconsistent with the public interest to apply the

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or

L0:a combination of both, an end product manufactured in the United States, if the cost of

L0:iron and steel not produced in the United States or a qualifying country constitutes less

L0:than 5 percent of the cost of all the components used in the end product (produced in the

L0:United States or a qualifying country means that all manufacturing processes of the

L0:iron or steel must take place in the United States or a qualifying country, except

L0:metallurgical processes involving refinement of steel additives). The cost of iron and

L0:steel not produced in the United States or a qualifying country includes but is not

L0:limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or

L0:sheet), castings, or forgings, not produced in the United States or a qualifying country,

L0:utilized in the manufacture of the end product and a good faith estimate of the cost of

L0:all iron or steel components not produced in the United States or a qualifying country,

L0:excluding COTS fasteners. Iron or steel components of unknown origin are treated as

L0:foreign. If the end product contains multiple components, the cost of all the materials

L0:used in such end product is calculated in accordance with the explanation of cost of

L0:components in paragraph (1)(ii)(A) of this definition.

L0:End product? means those articles, materials, and supplies to be acquired under

L0:this contract for public use.

L0:Foreign end product? means an end product other than a domestic end product.

L0:Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa

L0:Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of),

L0:Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement

L0:country; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in a Free Trade Agreement
L0:country into a new and different article of commerce with a name, character, or use
L0:distinct from that of the article or articles from which it was transformed. The term
L0:refers to a product offered for purchase under a supply contract, but for purposes of
L0:calculating the value of the end product includes services (except transportation
L0:services) incidental to its supply, provided that the value of those incidental services
L0:does not exceed the value of the product itself.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Moroccan end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in Morocco into a new and
L0:different article of commerce with a name, character, or use distinct from that of the
L0:article or articles from which it was transformed. The term refers to a product offered
L0:for purchase under a supply contract, but for purposes of calculating the value of the
L0:end product includes services (except transportation services) incidental to its supply,
L0:provided that the value of those incidental services does not exceed the value of the
L0:product itself.

L0:Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in Panama into a new and
L0:different article of commerce with a name, character, or use distinct from that of the
L0:article or articles from which it was transformed. The term refers to a product offered
L0:for purchase under a supply contract, but for purposes of calculating the value of the
L0:end product includes services (except transportation services) incidental to its supply,
L0:provided that the value of those incidental services does not exceed the value of the
L0:product itself.

L0:Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in Peru into a new and different
L0:article of commerce with a name, character, or use distinct from that of the article or
L0:articles from which it was transformed. The term refers to a product offered for
L0:purchase under a supply contract, but for purposes of calculating the value of the end
L0:product includes services (except transportation services) incidental to its supply,
L0:provided that the value of those incidental services does not exceed the value of the
L0:product itself.

L0:Predominantly of iron or steel or a combination of both? means that the cost of the
L0:iron and steel content exceeds 50 percent of the total cost of all its components. The cost
L0:of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab,
L0:wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product
L0:and a good faith estimate of the cost of iron or steel components excluding COTS
L0:fasteners.

L0:Qualifying country? means a country with a reciprocal defense procurement

L0:memorandum of understanding or international agreement with the United States in

L0:which both countries agree to remove barriers to purchases of supplies produced in the

L0:other country or services performed by sources of the other country, and the

L0:memorandum or agreement complies, where applicable, with the requirements of

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457.

L0:Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component? means a component mined, produced, or

L0:manufactured in a qualifying country.

L0:Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country;

L0:or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the

L0:cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered
 L0:starting in calendar year 2029, unless an alternate percentage is established for a
 L0:contract:

L0:country.

L1:(A) Components mined, produced, or manufactured in a qualifying

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:States.

L1:(B) Components mined, produced, or manufactured in the United

L1:(C) Components of foreign origin of a class or kind for which the

L0:Government has determined that sufficient and reasonably available commercial

L0:quantities of a satisfactory quality are not mined, produced, or manufactured in the

L0:United States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2

L0:percent carbon, and may include other elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products

L0:unless, in its offer, it specified delivery of qualifying country end products, Free Trade

L0:Agreement country end products other than Bahraini end products, Moroccan end

L0:products, Panamanian end products, or Peruvian end products, or other foreign end

L0:products in the Buy American?Free Trade Agreements?Balance of Payments

L0:Program Certificate?Basic provision of the solicitation. If the Contractor certified in its

L0:offer that it will deliver a qualifying country end product or a Free Trade Agreement

L0:country end product other than a Bahraini end product, a Moroccan end product, a

L0:Panamanian end product, or a Peruvian end product, the Contractor shall deliver a

L0:qualifying country end product, a Free Trade Agreement country end product other

L0:than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a

L0:Peruvian end product, or, at the Contractor's option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for

L0:which the Contractor will claim duty-free entry.

L0:(End of clause)

L0:Alternate I. As prescribed in 225.601(10)(i) and (10)(i)(B), use the following clause,

L0:which uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS

L0:PROGRAM?ALTERNATE I (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0: Bahraini end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials

L0:from another country, has been substantially transformed in Bahrain into a new

L0:and different article of commerce with a name, character, or use distinct from that

L0:of the article or articles from which it was transformed. The term refers to a

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:product offered for purchase under a supply contract, but for purposes of calculating

L0:the value of the end product includes services (except transportation services)

L0:incidental to its supply, provided that the value of those incidental services does not

L0:exceed the value of the product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of

L0:?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier,

L0:without modification, in the same form in which it is sold in the commercial

L0:marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as

L0:agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end

L0:product.

L0:?Critical component? means a component that is mined, produced, or manufactured

L0:in the United States and deemed critical to the U.S. supply chain. The list of critical

L0:components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that

L0:is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or

L0:steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States;

L0:or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components

L0:that are mined, produced, or manufactured in the United States exceeds 60 percent of

L0:the cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:starting in calendar year 2029, unless an alternate percentage is established for a

L0:contract in accordance with Defense Federal Acquisition Regulation Supplement

L1:(DFARS) 225.101(d); or award is made before January 1, 2030, for a foreign end product

L0:that exceeds 55 percent domestic content (see DFARS 225.103(b)(ii)). The cost of

L0:components includes transportation costs to the place of incorporation into the end

L0:product and U.S. duty (whether or not a duty-free entry certificate is issued).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Components of unknown origin are treated as foreign. Scrap generated, collected, and

L0:prepared for processing in the United States is considered domestic. A component is

L0:considered to have been mined, produced, or manufactured in the United States

L0:(regardless of its source in fact) if the end product in which it is incorporated is

L0:manufactured in the United States and the component is of a class or kind for which the L0:Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a

L0:satisfactory quality are not mined, produced, or manufactured in the United States; or

L0:restrictions of the Buy American statute; or

L1:(2) It is inconsistent with the public interest to apply the

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or

L0:a combination of both, an end product manufactured in the United States, if the cost of

L0:iron and steel not produced in the United States or a qualifying country constitutes less

L0:than 5 percent of the cost of all the components used in the end product (produced in the

L0:United States or a qualifying country means that all manufacturing processes of the

L0:iron or steel must take place in the United States or a qualifying country, except

L0:metallurgical processes involving refinement of steel additives). The cost of iron and

L0:steel not produced in the United States or a qualifying country includes but is not

L0:limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or

L0:sheet), castings, or forgings, not produced in the United States or a qualifying country,

L0:utilized in the manufacture of the end product and a good faith estimate of the cost of

L0:all iron or steel components not produced in the United States or a qualifying country,

L0:excluding COTS fasteners. Iron or steel components of unknown origin are treated as

L0:foreign. If the end product contains multiple components, the cost of all the materials

L0:used in such end product is calculated in accordance with the explanation of cost of

L0:components in paragraph (1)(ii)(A) of this definition.

L0:End product? means those articles, materials, and supplies to be acquired under

L0:this contract for public use.

L0:Foreign end product? means an end product other than a domestic end product.

L0:Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa

L0:Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of),

L0:Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement

L0:country; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in a Free Trade Agreement

L0:country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term

L0:refers to a product offered for purchase under a supply contract, but for purposes of

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:calculating the value of the end product includes services (except transportation

L0:services) incidental to its supply, provided that the value of those incidental services

L0:does not exceed the value of the product itself.

L0:Moroccan end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in Morocco into a new and
L0:different article of commerce with a name, character, or use distinct from that of the
L0:article or articles from which it was transformed. The term refers to a product offered
L0:for purchase under a supply contract, but for purposes of calculating the value of the
L0:end product includes services (except transportation services) incidental to its supply,
L0:provided that the value of those incidental services does not exceed the value of the
L0:product itself.

L0:?Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from
L0:another country, has been substantially transformed in Panama into a new and
L0:different article of commerce with a name, character, or use distinct from that of the
L0:article or articles from which it was transformed. The term refers to a product offered
L0:for purchase under a supply contract, but for purposes of calculating the value of the
L0:end product includes services (except transportation services) incidental to its supply,
L0:provided that the value of those incidental services does not exceed the value of the
L0:product itself.

L0:?Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from
L0:another country, has been substantially transformed in Peru into a new and different
L0:article of commerce with a name, character, or use distinct from that of the article or
L0:articles from which it was transformed. The term refers to a product offered for
L0:purchase under a supply contract, but for purposes of calculating the value of the end
L0:product includes services (except transportation services) incidental to its supply,
L0:provided that the value of those incidental services does not exceed the value of the
L0:product itself.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the
L0:iron and steel content exceeds 50 percent of the total cost of all its components. The cost
L0:of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab,
L0:wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product
L0:and a good faith estimate of the cost of iron or steel components excluding COTS
L0:fasteners.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:?Qualifying country? means a country with a reciprocal defense procurement

L0:memorandum of understanding or international agreement with the United States in
L0:which both countries agree to remove barriers to purchases of supplies produced in the
L0:other country or services performed by sources of the other country, and the
L0:memorandum or agreement complies, where applicable, with the requirements of
L0:section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457.
L0:Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or

L0:manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country;

L0:or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the

L0:cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:starting in calendar year 2029, unless an alternate percentage is established for a

L0:contract:

L1:(A) Components mined, produced, or manufactured in a qualifying

L0:country.

L0:States.

L1:(B) Components mined, produced, or manufactured in the United

L1:(C) Components of foreign origin of a class or kind for which the

L0:Government has determined that sufficient and reasonably available commercial

L0:quantities of a satisfactory quality are not mined, produced, or manufactured in the

L0:United States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:?"Steel?" means an alloy that includes at least 50 percent iron, between 0.02 and 2

L0:percent carbon, and may include other elements.

L0:?"United States?" means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products

L0:unless, in its offer, it specified delivery of qualifying country or other foreign end

L0:products in the Buy American?"Free Trade Agreements?"Balance of Payments

L0:Program Certificate?"Alternate I provision of the solicitation. If the Contractor certified

L0:in its offer that it will deliver a qualifying country end product, the Contractor shall

L0:deliver a qualifying country end product or, at the Contractor?s option, a domestic end

L0:product.

L1:(d) The contract price does not include duty for end products or components for

L0:which the Contractor will claim duty-free entry.

L0:(End of clause)

L0:Alternate II. [Reserved]

L0:Alternate III. [Reserved]

L0:Alternate IV. As prescribed in 225.601(10)(i) and (10)(i)(C), use the following clause,

L0:which adds ?Korean end product? to paragraph (a), and uses a different paragraph (c)

L0:than the basic clause:

L0:BUY AMERICAN?"FREE TRADE AGREEMENTS?"BALANCE OF PAYMENTS

L0:PROGRAM?"ALTERNATE IV (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?"Bahraini end product?" means an article that?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials

L0:from another country, has been substantially transformed in Bahrain into a new

L0:and different article of commerce with a name, character, or use distinct from that

L0:of the article or articles from which it was transformed. The term refers to a

L0:product offered for purchase under a supply contract, but for purposes of calculating

L0:the value of the end product includes services (except transportation services)

L0:incidental to its supply, provided that the value of those incidental services does not

L0:exceed the value of the product itself.

L0:?"Commercially available off-the-shelf (COTS) item?"

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of

L0:?"commercial product?" in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier,

L0:without modification, in the same form in which it is sold in the commercial

L0:marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as

L0:agricultural products and petroleum products.

L0:?"Component?" means an article, material, or supply incorporated directly into an end
L0:product.

L0:?"Critical component?" means a component that is mined, produced, or manufactured
L0:in the United States and deemed critical to the U.S. supply chain. The list of critical
L0:components is at FAR 25.105.

L0:?"Critical item?" means domestic construction material or a domestic end product that
L0:is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?"Domestic end product?" means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or
L0:steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States;
L0:or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components

L0:that are mined, produced, or manufactured in the United States exceeds 60 percent of

L0:the cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:starting in calendar year 2029, unless an alternate percentage is established for a

L0:contract in accordance with Defense Federal Acquisition Regulation Supplement

L1:(DFARS) 225.101(d)); or award is made before January 1, 2030, for a foreign end

L0:product that exceeds 55 percent domestic content (see DFARS 225.103(b)(ii)). The cost

L0:of components includes transportation costs to the place of incorporation into the end

L0:product and U.S. duty (whether or not a duty-free entry certificate is issued).

L0:Components of unknown origin are treated as foreign. Scrap generated, collected, and

L0:prepared for processing in the United States is considered domestic. A component is

L0:considered to have been mined, produced, or manufactured in the United States

L0:(regardless of its source in fact) if the end product in which it is incorporated is

L0:manufactured in the United States and the component is of a class or kind for which the

L0:Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a

L0:satisfactory quality are not mined, produced, or manufactured in the United States; or

L0:restrictions of the Buy American statute; or

L1:(2) It is inconsistent with the public interest to apply the

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or

L0:a combination of both, an end product manufactured in the United States, if the cost of

L0:iron and steel not produced in the United States or a qualifying country constitutes less

L0:than 5 percent of the cost of all the components used in the end product (produced in the

L0:United States or a qualifying country means that all manufacturing processes of the

L0:iron or steel must take place in the United States or a qualifying country, except

L0:metallurgical processes involving refinement of steel additives). The cost of iron and

L0:steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:Foreign end product? means an end product other than a domestic end product.

L0:Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Korean end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Korea; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Korea (Republic of) into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product, includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Moroccan end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the

L0:end product includes services (except transportation services) incidental to its supply,
L0:provided that the value of those incidental services does not exceed the value of the
L0:product itself.

L0:?Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in Panama into a new and

L0:different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered

L0:for purchase under a supply contract, but for purposes of calculating the value of the

L0:end product includes services (except transportation services) incidental to its supply,

L0:provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:?Peruvian end product? means an article that?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in Peru into a new and different

L0:article of commerce with a name, character, or use distinct from that of the article or

L0:articles from which it was transformed. The term refers to a product offered for

L0:purchase under a supply contract, but for purposes of calculating the value of the end

L0:product includes services (except transportation services) incidental to its supply,

L0:provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the

L0:iron and steel content exceeds 50 percent of the total cost of all its components. The cost

L0:of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab,

L0:wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product

L0:and a good faith estimate of the cost of iron or steel components excluding COTS

L0:fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement

L0:memorandum of understanding or international agreement with the United States in

L0:which both countries agree to remove barriers to purchases of supplies produced in the

L0:other country or services performed by sources of the other country, and the

L0:memorandum or agreement complies, where applicable, with the requirements of

L0:section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457.

L0:Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component? means a component mined, produced, or

L0:manufactured in a qualifying country.

L0:Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country;

L0:or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the

L0:cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:starting in calendar year 2029, unless an alternate percentage is established for a

L0:contract:

L1:(A) Components mined, produced, or manufactured in a qualifying

L0:country.

L0:States.

L1:(B) Components mined, produced, or manufactured in the United

L1:(C) Components of foreign origin of a class or kind for which the

L0:Government has determined that sufficient and reasonably available commercial

L0:quantities of a satisfactory quality are not mined, produced, or manufactured in the

L0:United States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2

L0:percent carbon, and may include other elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products

L0:unless, in its offer, it specified delivery of qualifying country end products, Free Trade

L0:Agreement country end products other than Bahraini end products, Korean end

L0:products, Moroccan end products, Panamanian end products, or Peruvian end products,

L0:or other foreign end products in the Buy American?Free Trade Agreements?Balance

L0:of Payments Program Certificate?Alternate IV provision of the solicitation. If the

L0:Contractor certified in its offer that it will deliver a qualifying country end product or a

L0:Free Trade Agreement country end product other than a Bahraini end product, a

L0:Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian

L0:end product, the Contractor shall deliver a qualifying country end product, a Free Trade

L0:Agreement country end product other than a Bahraini end product, a Korean end

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:product, a Moroccan end product, a Panamanian end product, or a Peruvian end

L0:product, or, at the Contractor?s option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for

L0:which the Contractor will claim duty-free entry.

L0:Alternate V. [Reserved]

L0:(End of clause)

L0:Alternate VI. As prescribed in 225.601(10)(i) and (10)(i)(D), use the following clause,

L0:which includes, in the definitions of ?domestic end product? at paragraph (1)(ii)(A) and

L0:?qualifying country end product? at paragraph (2)(i), the domestic content threshold

L0:that will apply to the entire contract period of performance:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS

L0:PROGRAM?ALTERNATE VI (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Bahraini end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in Bahrain into a new and

L0:different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered

L0:for purchase under a supply contract, but for purposes of calculating the value of the

L0:end product includes services (except transportation services) incidental to its supply,

L0:provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of

L0:?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier,

L0:without modification, in the same form in which it is sold in the commercial

L0:marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as

L0:agricultural products and petroleum products.

L0:?"Component?" means an article, material, or supply incorporated directly into an end

L0:product.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:?"Critical component?" means a component that is mined, produced, or manufactured

L0:in the United States and deemed critical to the U.S. supply chain. The list of critical

L0:components is at FAR 25.105.

L0:?"Critical item?" means domestic construction material or a domestic end product that

L0:is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?"Domestic end product?" means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or

L0:steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States;

L0:or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components

L0:that are mined, produced, or manufactured in the United States exceeds, for the entire

L0:period of performance for a contract awarded in: calendar year 2023, 60 percent of the

L0:cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all

L0:its components; or calendar year 2029 or later, 75 percent of the cost of all its

L0:components. The cost of components includes transportation costs to the place of

L0:incorporation into the end product and U.S. duty (whether or not a duty-free entry

L0:certificate is issued). Components of unknown origin are treated as foreign. Scrap

L0:generated, collected, and prepared for processing in the United States is considered

L0:domestic. A component is considered to have been mined, produced, or manufactured in

L0:the United States (regardless of its source in fact) if the end product in which it is

L0:incorporated is manufactured in the United States and the component is of a class or

L0:kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a

L0:satisfactory quality are not mined, produced, or manufactured in the United States; or

L0:restrictions of the Buy American statute; or

L1:(2) It is inconsistent with the public interest to apply the

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or

L0:a combination of both, an end product manufactured in the United States, if the cost of

L0:iron and steel not produced in the United States or a qualifying country constitutes less

L0:than 5 percent of the cost of all the components used in the end product (produced in the

L0:United States or a qualifying country means that all manufacturing processes of the

L0:iron or steel must take place in the United States or a qualifying country, except

L0:metallurgical processes involving refinement of steel additives). The cost of iron and

L0:steel not produced in the United States or a qualifying country includes but is not

L0:limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or L0:sheet), castings, or forgings, not produced in the United States or a qualifying country, L0:utilized in the manufacture of the end product and a good faith estimate of the cost of L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:all iron or steel components not produced in the United States or a qualifying country, L0:excluding COTS fasteners. Iron or steel components of unknown origin are treated as L0:foreign. If the end product contains multiple components, the cost of all the materials L0:used in such end product is calculated in accordance with the explanation of cost of L0:components in paragraph (1)(ii)(A) of this definition.

L0:“End product” means those articles, materials, and supplies to be acquired under L0:this contract for public use.

L0:“Foreign end product” means an end product other than a domestic end product.

L0:“Free Trade Agreement country” means Australia, Bahrain, Chile, Colombia, Costa L0:Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of), L0:Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:“Free Trade Agreement country end product” means an article that-

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement L0:country; or

L1:(2) In the case of an article that consists in whole or in part of materials from L0:another country, has been substantially transformed in a Free Trade Agreement L0:country into a new and different article of commerce with a name, character, or use L0:distinct from that of the article or articles from which it was transformed. The term L0:refers to a product offered for purchase under a supply contract, but for purposes of L0:calculating the value of the end product includes services (except transportation L0:services) incidental to its supply, provided that the value of those incidental services L0:does not exceed the value of the product itself.

L0:“Moroccan end product” means an article that-

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from L0:another country, has been substantially transformed in Morocco into a new and L0:different article of commerce with a name, character, or use distinct from that of the L0:article or articles from which it was transformed. The term refers to a product offered L0:for purchase under a supply contract, but for purposes of calculating the value of the L0:end product includes services (except transportation services) incidental to its supply, L0:provided that the value of those incidental services does not exceed the value of the L0:product itself.

L0:“Panamanian end product” means an article that-

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from L0:another country, has been substantially transformed in Panama into a new and L0:different article of commerce with a name, character, or use distinct from that of the L0:article or articles from which it was transformed. The term refers to a product offered L0:for purchase under a supply contract, but for purposes of calculating the value of the L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:end product includes services (except transportation services) incidental to its supply,
L0:provided that the value of those incidental services does not exceed the value of the
L0:product itself.

L0:Peruvian end product? means an article that-

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in Peru into a new and different

L0:article of commerce with a name, character, or use distinct from that of the article or

L0:articles from which it was transformed. The term refers to a product offered for

L0:purchase under a supply contract, but for purposes of calculating the value of the end

L0:product includes services (except transportation services) incidental to its supply,

L0:provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:Predominantly of iron or steel or a combination of both? means that the cost of the

L0:iron and steel content exceeds 50 percent of the total cost of all its components. The cost

L0:of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab,

L0:wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product

L0:and a good faith estimate of the cost of iron or steel components excluding COTS

L0:fasteners.

L0:Qualifying country? means a country with a reciprocal defense procurement

L0:memorandum of understanding or international agreement with the United States in

L0:which both countries agree to remove barriers to purchases of supplies produced in the

L0:other country or services performed by sources of the other country, and the

L0:memorandum or agreement complies, where applicable, with the requirements of

L0:section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457.

L0:Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component? means a component mined, produced, or

L0:manufactured in a qualifying country.

L0:Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country;

L0:or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire

L0:period of performance for a contract awarded in: calendar year 2023, 60 percent of the

L0:cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all

L0:its components; or calendar year 2029 or later, 75 percent of the cost of all its

L0:components:

L1:(A) Components mined, produced, or manufactured in a qualifying

L0:country.

L0:States.

L1:(B) Components mined, produced, or manufactured in the United

L1:(C) Components of foreign origin of a class or kind for which the

L0:Government has determined that sufficient and reasonably available commercial

L0:quantities of a satisfactory quality are not mined, produced, or manufactured in the

L0:United States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2

L0:percent carbon, and may include other elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products

L0:unless, in its offer, it specified delivery of qualifying country end products, Free Trade

L0:Agreement country end products other than Bahraini end products, Moroccan end

L0:products, Panamanian end products, or Peruvian end products, or other foreign end

L0:products in the Buy American?Free Trade Agreements?Balance of Payments

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Program Certificate?Basic provision of the solicitation. If the Contractor certified in its

L0:offer that it will deliver a qualifying country end product or a Free Trade Agreement

L0:country end product other than a Bahraini end product, a Moroccan end product, a
 L0:Panamanian end product, or a Peruvian end product, the Contractor shall deliver a
 L0:qualifying country end product, a Free Trade Agreement country end product other
 L0:than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a
 L0:Peruvian end product, or, at the Contractor's option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for
 L0:which the Contractor will claim duty-free entry.

L0:(End of clause)

L0:Alternate VII. As prescribed in 225.601(10)(i) and (10)(i)(E), use the following clause,
 L0:which includes, in the definitions of "domestic end product" at paragraph (1)(ii)(A) and
 L0:"qualifying country end product" at paragraph (2)(i), the domestic content threshold
 L0:that will apply to the entire contract period of performance and uses a different
 L0:paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS

L0:PROGRAM?ALTERNATE VII (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:"Bahraini end product" means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from
 L0:another country, has been substantially transformed in Bahrain into a new and
 L0:different article of commerce with a name, character, or use distinct from that of the
 L0:article or articles from which it was transformed. The term refers to a product offered
 L0:for purchase under a supply contract, but for purposes of calculating the value of the
 L0:end product includes services (except transportation services) incidental to its supply,
 L0:provided that the value of those incidental services does not exceed the value of the
 L0:product itself.

L0:"Commercially available off-the-shelf (COTS) item"?

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of
 L0:"commercial product" in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier,
 L0:without modification, in the same form in which it is sold in the commercial
 L0:marketplace; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as
 L0:agricultural products and petroleum products.

L0:"Component" means an article, material, or supply incorporated directly into an end
 L0:product.

L0:"Critical component" means a component that is mined, produced, or manufactured
 L0:in the United States and deemed critical to the U.S. supply chain. The list of critical
 L0:components is at FAR 25.105.

L0:"Critical item" means domestic construction material or a domestic end product that

L0:is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or

L0:steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States;

L0:or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components

L0:that are mined, produced, or manufactured in the United States exceeds, for the entire

L0:period of performance for a contract awarded in: calendar year 2023, 60 percent of the

L0:cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all

L0:its components; or calendar year 2029 or later, 75 percent of the cost of all its

L0:components. The cost of components includes transportation costs to the place of

L0:incorporation into the end product and U.S. duty (whether or not a duty-free entry

L0:certificate is issued). Components of unknown origin are treated as foreign. Scrap

L0:generated, collected, and prepared for processing in the United States is considered

L0:domestic. A component is considered to have been mined, produced, or manufactured in

L0:the United States (regardless of its source in fact) if the end product in which it is

L0:incorporated is manufactured in the United States and the component is of a class or

L0:kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a

L0:satisfactory quality are not mined, produced, or manufactured in the United States; or

L0:restrictions of the Buy American statute; or

L1:(2) It is inconsistent with the public interest to apply the

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or

L0:a combination of both, an end product manufactured in the United States, if the cost of

L0:iron and steel not produced in the United States or a qualifying country constitutes less

L0:than 5 percent of the cost of all the components used in the end product (produced in the

L0:United States or a qualifying country means that all manufacturing processes of the

L0:iron or steel must take place in the United States or a qualifying country, except

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:metallurgical processes involving refinement of steel additives). The cost of iron and

L0:steel not produced in the United States or a qualifying country includes but is not

L0:limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or

L0:sheet), castings, or forgings, not produced in the United States or a qualifying country,

L0:utilized in the manufacture of the end product and a good faith estimate of the cost of

L0:all iron or steel components not produced in the United States or a qualifying country,

L0:excluding COTS fasteners. Iron or steel components of unknown origin are treated as

L0:foreign. If the end product contains multiple components, the cost of all the materials

L0:used in such end product is calculated in accordance with the explanation of cost of

L0:components in paragraph (1)(ii)(A) of this definition.

L0:End product? means those articles, materials, and supplies to be acquired under

L0:this contract for public use.

L0: Foreign end product? means an end product other than a domestic end product.

L0: Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa

L0: Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of),

L0: Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0: Free Trade Agreement country end product? means an article that?

L1: (1) Is wholly the growth, product, or manufacture of a Free Trade Agreement

L0: country; or

L1: (2) In the case of an article that consists in whole or in part of materials from

L0: another country, has been substantially transformed in a Free Trade Agreement

L0: country into a new and different article of commerce with a name, character, or use

L0: distinct from that of the article or articles from which it was transformed. The term

L0: refers to a product offered for purchase under a supply contract, but for purposes of

L0: calculating the value of the end product includes services (except transportation

L0: services) incidental to its supply, provided that the value of those incidental services

L0: does not exceed the value of the product itself.

L0: Moroccan end product? means an article that?

L1: (1) Is wholly the growth, product, or manufacture of Morocco; or

L1: (2) In the case of an article that consists in whole or in part of materials from

L0: another country, has been substantially transformed in Morocco into a new and

L0: different article of commerce with a name, character, or use distinct from that of the

L0: article or articles from which it was transformed. The term refers to a product offered

L0: for purchase under a supply contract, but for purposes of calculating the value of the

L0: end product includes services (except transportation services) incidental to its supply,

L0: provided that the value of those incidental services does not exceed the value of the

L0: product itself.

L0: Panamanian end product? means an article that?

L1: (1) Is wholly the growth, product, or manufacture of Panama; or

L0: Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0: Defense FAR Supplement (DFARS) Part 225

L1: (2) In the case of an article that consists in whole or in part of materials from

L0: another country, has been substantially transformed in Panama into a new and

L0: different article of commerce with a name, character, or use distinct from that of the

L0: article or articles from which it was transformed. The term refers to a product offered

L0: for purchase under a supply contract, but for purposes of calculating the value of the

L0: end product includes services (except transportation services) incidental to its supply,

L0: provided that the value of those incidental services does not exceed the value of the

L0: product itself.

L0: Peruvian end product? means an article that?

L1: (1) Is wholly the growth, product, or manufacture of Peru; or

L1: (2) In the case of an article that consists in whole or in part of materials from

L0: another country, has been substantially transformed in Peru into a new and different

L0: article of commerce with a name, character, or use distinct from that of the article or

L0: articles from which it was transformed. The term refers to a product offered for

L0: purchase under a supply contract, but for purposes of calculating the value of the end

L0: product includes services (except transportation services) incidental to its supply,

L0:provided that the value of those incidental services does not exceed the value of the
L0:product itself.

L0:Predominantly of iron or steel or a combination of both? means that the cost of the
L0:iron and steel content exceeds 50 percent of the total cost of all its components. The cost
L0:of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab,
L0:wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product
L0:and a good faith estimate of the cost of iron or steel components excluding COTS
L0:fasteners.

L0:Qualifying country? means a country with a reciprocal defense procurement
L0:memorandum of understanding or international agreement with the United States in
L0:which both countries agree to remove barriers to purchases of supplies produced in the
L0:other country or services performed by sources of the other country, and the
L0:memorandum or agreement complies, where applicable, with the requirements of
L0:section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457.
L0:Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component? means a component mined, produced, or

L0:manufactured in a qualifying country.

L0:Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country;

L0:or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire

L0:period of performance for a contract awarded in: calendar year 2023, 60 percent of the

L0:cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all

L0:its components; or calendar year 2029 or later, 75 percent of the cost of all its

L0:components:

L1:(A) Components mined, produced, or manufactured in a qualifying

L0:country.

L0:States.

L1:(B) Components mined, produced, or manufactured in the United

L1:(C) Components of foreign origin of a class or kind for which the

L0:Government has determined that sufficient and reasonably available commercial

L0:quantities of a satisfactory quality are not mined, produced, or manufactured in the

L0:United States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2

L0:percent carbon, and may include other elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(c) The Contractor shall deliver under this contract only domestic end products

L0:unless, in its offer, it specified delivery of qualifying country or other foreign end

L0:products in the Buy American?Free Trade Agreements?Balance of Payments

L0:Program Certificate?Alternate I provision of the solicitation. If the Contractor certified

L0:in its offer that it will deliver a qualifying country end product, the Contractor shall

L0:deliver a qualifying country end product or, at the Contractor?s option, a domestic end

L0:product.

L1:(d) The contract price does not include duty for end products or components for

L0:which the Contractor will claim duty-free entry.

L0:(End of clause)

L0:Alternate VIII. [Reserved]

L0:Alternate IX. [Reserved]

L0:Alternate X. As prescribed in 225.601(10)(i) and (10)(i)(F), use the following clause,

L0:which includes, in the definitions of ?domestic end product? at paragraph (1)(ii)(A) and

L0:qualifying country end product? at paragraph (2)(i), the domestic content threshold

L0:that will apply to the entire contract period of performance; adds ?Korean end product?

L0:to paragraph (a); and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS

L0:PROGRAM?ALTERNATE X (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Bahraini end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in Bahrain into a new and

L0:different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered

L0:for purchase under a supply contract, but for purposes of calculating the value of the

L0:end product includes services (except transportation services) incidental to its supply,

L0:provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of

L0:?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(iii) Offered to the Government, under a contract or subcontract at any tier,

L0:without modification, in the same form in which it is sold in the commercial

L0:marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as

L0:agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end

L0:product.

L0:?Critical component? means a component that is mined, produced, or manufactured

L0:in the United States and deemed critical to the U.S. supply chain. The list of critical

L0:components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that

L0:is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or

L0:steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States;

L0:or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components

L0:that are mined, produced, or manufactured in the United States exceeds, for the entire

L0:period of performance for a contract awarded in: calendar year 2023, 60 percent of the

L0:cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all

L0:its components; or calendar year 2029 or later, 75 percent of the cost of all its

L0:components. The cost of components includes transportation costs to the place of

L0:incorporation into the end product and U.S. duty (whether or not a duty-free entry

L0:certificate is issued). Components of unknown origin are treated as foreign. Scrap

L0:generated, collected, and prepared for processing in the United States is considered L0:domestic. A component is considered to have been mined, produced, or manufactured in L0:the United States (regardless of its source in fact) if the end product in which it is L0:incorporated is manufactured in the United States and the component is of a class or L0:kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a

L0:satisfactory quality are not mined, produced, or manufactured in the United States; or L0:restrictions of the Buy American statute; or

L1:(2) It is inconsistent with the public interest to apply the

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or

L0:a combination of both, an end product manufactured in the United States, if the cost of

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:iron and steel not produced in the United States or a qualifying country constitutes less

L0:than 5 percent of the cost of all the components used in the end product (produced in the

L0:United States or a qualifying country means that all manufacturing processes of the

L0:iron or steel must take place in the United States or a qualifying country, except

L0:metallurgical processes involving refinement of steel additives). The cost of iron and

L0:steel not produced in the United States or a qualifying country includes but is not

L0:limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or

L0:sheet), castings, or forgings, not produced in the United States or a qualifying country,

L0:utilized in the manufacture of the end product and a good faith estimate of the cost of

L0:all iron or steel components not produced in the United States or a qualifying country,

L0:excluding COTS fasteners. Iron or steel components of unknown origin are treated as

L0:foreign. If the end product contains multiple components, the cost of all the materials

L0:used in such end product is calculated in accordance with the explanation of cost of

L0:components in paragraph (1)(ii)(A) of this definition.

L0:?End product? means those articles, materials, and supplies to be acquired under

L0:this contract for public use.

L0:?Foreign end product? means an end product other than a domestic end product.

L0:?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa

L0:Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic of),

L0:Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:?Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement

L0:country; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0:another country, has been substantially transformed in a Free Trade Agreement

L0:country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term

L0:refers to a product offered for purchase under a supply contract, but for purposes of

L0:calculating the value of the end product includes services (except transportation

L0:services) incidental to its supply, provided that the value of those incidental services

L0:does not exceed the value of the product itself.

L0: ?Korean end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Korea; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0: another country, has been substantially transformed in Korea (Republic of) into a new

L0: and different article of commerce with a name, character, or use distinct from that of

L0: the article or articles from which it was transformed. The term refers to a product

L0: offered for purchase under a supply contract, but for purposes of calculating the value of

L0: the end product, includes services (except transportation services) incidental to its

L0: supply, provided that the value of those incidental services does not exceed the value of

L0: the product itself.

L0: Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0: Defense FAR Supplement (DFARS) Part 225

L0: ?Moroccan end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0: another country, has been substantially transformed in Morocco into a new and

L0: different article of commerce with a name, character, or use distinct from that of the

L0: article or articles from which it was transformed. The term refers to a product offered

L0: for purchase under a supply contract, but for purposes of calculating the value of the

L0: end product includes services (except transportation services) incidental to its supply,

L0: provided that the value of those incidental services does not exceed the value of the

L0: product itself.

L0: ?Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0: another country, has been substantially transformed in Panama into a new and

L0: different article of commerce with a name, character, or use distinct from that of the

L0: article or articles from which it was transformed. The term refers to a product offered

L0: for purchase under a supply contract, but for purposes of calculating the value of the

L0: end product includes services (except transportation services) incidental to its supply,

L0: provided that the value of those incidental services does not exceed the value of the

L0: product itself.

L0: ?Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from

L0: another country, has been substantially transformed in Peru into a new and different

L0: article of commerce with a name, character, or use distinct from that of the article or

L0: articles from which it was transformed. The term refers to a product offered for

L0: purchase under a supply contract, but for purposes of calculating the value of the end

L0: product includes services (except transportation services) incidental to its supply,

L0: provided that the value of those incidental services does not exceed the value of the

L0: product itself.

L0: ?Predominantly of iron or steel or a combination of both? means that the cost of the

L0: iron and steel content exceeds 50 percent of the total cost of all its components. The cost

L0: of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab,

L0:wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product

L0:and a good faith estimate of the cost of iron or steel components excluding COTS

L0:fasteners.

L0:Qualifying country? means a country with a reciprocal defense procurement

L0:memorandum of understanding or international agreement with the United States in

L0:which both countries agree to remove barriers to purchases of supplies produced in the

L0:other country or services performed by sources of the other country, and the

L0:memorandum or agreement complies, where applicable, with the requirements of

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457.

L0:Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component? means a component mined, produced, or

L0:manufactured in a qualifying country.

L0:Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country;

L0:or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire
L0:period of performance for a contract awarded in: calendar year 2023, 60 percent of the
L0:cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all
L0:its components; or calendar year 2029 or later, 75 percent of the cost of all its
L0:components:
L0:country.

L1:(A) Components mined, produced, or manufactured in a qualifying
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L0:States.

L1:(B) Components mined, produced, or manufactured in the United
L1:(C) Components of foreign origin of a class or kind for which the
L0:Government has determined that sufficient and reasonably available commercial
L0:quantities of a satisfactory quality are not mined, produced, or manufactured in the
L0:United States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.
L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2
L0:percent carbon, and may include other elements.
L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products
L0:unless, in its offer, it specified delivery of qualifying country end products, Free Trade
L0:Agreement country end products other than Bahraini end products, Korean end
L0:products, Moroccan end products, Panamanian end products, or Peruvian end products,
L0:or other foreign end products in the Buy American?Free Trade Agreements?Balance
L0:of Payments Program Certificate?Alternate IV provision of the solicitation. If the
L0:Contractor certified in its offer that it will deliver a qualifying country end product or a
L0:Free Trade Agreement country end product other than a Bahraini end product, a
L0:Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian
L0:end product, the Contractor shall deliver a qualifying country end product, a Free Trade
L0:Agreement country end product other than a Bahraini end product, a Korean end
L0:product, a Moroccan end product, a Panamanian end product, or a Peruvian end
L0:product, or, at the Contractor?s option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for
L0:which the Contractor will claim duty-free entry.

L0:(End of clause)

L0:Alternate XI. [Reserved]

252.225-7037 Reserved

Status: active

L0:252.225-7037 Reserved.

252.225-7038 Reserved

Status: active

L0:252.225-7038 Reserved.

252.225-7039 Defense Contractors Performing Private Security Functions

Status: active

L0:252.225-7039 Defense Contractors Performing Private Security Functions

L0:Outside the United States.

L0:As prescribed in 225.702-6, insert the following clause:

L0:DEFENSE CONTRACTORS PERFORMING PRIVATE SECURITY FUNCTIONS**L0:OUTSIDE THE UNITED STATES (JAN 2023)**

L1:(a) Definitions. As used in this clause?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Full cooperation??

L1:(1) Means disclosure to the Government of the information sufficient to

L0:identify the nature and extent of the incident and the individuals responsible for

L0:the conduct. It includes providing timely and complete response to Government

L0:auditors? and investigators? requests for documents and access to employees with

L0:information;

L1:(2) Does not foreclose any contractor rights arising in law, the FAR or the

L0:terms of the contract. It does not require?

L1:(i) The contractor to waive its attorney-client privilege or the protections

L0:afforded by the attorney work product doctrine; or

L1:(ii) Any officer, director, owner, or employee of the contractor, including

L0:a sole proprietor, to waive his or her attorney-client privilege or Fifth Amendment

L0:rights; and

L1:(3) Does not restrict the contractor from?

L1:(i) Conducting an internal investigation; or

L1:(ii) Defending a proceeding or dispute arising under the contract or

L0:related to a potential or disclosed violation.

L0:Private security functions? means the following activities engaged in by a

L0:contractor:

L1:(1) Guarding of personnel, facilities, designated sites or property of a Federal

L0:agency, the contractor or subcontractor, or a third party.

L1:(2) Any other activity for which personnel are required to carry weapons in the

L0:performance of their duties in accordance with the terms of this contract.

L1:(b) Applicability. If this contract is performed both in a designated area and in

L0:an area that is not designated, the clause only applies to performance in the

L0:designated area. Designated areas are areas outside the United States of?

L1:(1) Contingency operations;

L1:(2) Combat operations, as designated by the Secretary of Defense;

L1:(3) Other significant military operations (as defined in 32 CFR part 159),
L0:designated by the Secretary of Defense upon agreement of the Secretary of State;
L1:(4) Peace operations, consistent with Joint Publication 3-07.3; or
L1:(5) Other military operations or military exercises, when designated by the
L0:Combatant Commander.

L1:(c) Requirements. The Contractor shall?
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

L1:(1) Ensure that all Contractor personnel who are responsible for performing
L0:private security functions under this contract comply with 32 CFR part 159 and any
L0:orders, directives, or instructions to contractors performing private security
L0:functions that are identified in the contract for?

L1:(i) Registering, processing, accounting for, managing, overseeing and
L0:keeping appropriate records of personnel performing private security functions;
L1:(ii) Authorizing, accounting for and registering in Synchronized
L0:Predeployment and Operational Tracker (SPOT), weapons to be carried by or
L0:available to be used by personnel performing private security functions;
L1:(iii) Identifying and registering in SPOT armored vehicles, helicopters
L0:and other military vehicles operated by Contractors performing private security
L0:functions; and

L1:(iv) In accordance with orders and instructions established by the
L0:applicable Combatant Commander, reporting incidents in which?
L0:functions;

L1:(A) A weapon is discharged by personnel performing private security
L0:killed, or injured;

L1:(B) Personnel performing private security functions are attacked,
L0:of conduct by Contractor personnel;

L1:(C) Persons are killed or injured or property is destroyed as a result
L1:(D) A weapon is discharged against personnel performing private
L0:security functions or personnel performing such functions believe a weapon was so
L0:discharged; or

L1:(E) Active, non-lethal countermeasures (other than the discharge of
L0:a weapon) are employed by personnel performing private security functions in
L0:response to a perceived immediate threat;

L1:(2) Ensure that Contractor personnel who are responsible for performing
L0:private security functions under this contract are briefed on and understand their
L0:obligation to comply with?

L1:(i) Qualification, training, screening (including, if applicable, thorough
L0:background checks) and security requirements established by 32 CFR part 159;
L1:(ii) Applicable laws and regulations of the United States and the host
L0:country and applicable treaties and international agreements regarding
L0:performance of private security functions;

L1:(iii) Orders, directives, and instructions issued by the applicable
L0:Combatant Commander or relevant Chief of Mission relating to weapons,
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:equipment, force protection, security, health, safety, or relations and interaction

L0:with locals; and

L1:(iv) Rules on the use of force issued by the applicable Combatant

L0:Commander or relevant Chief of Mission for personnel performing private security

L0:functions;

L1:(3) Provide full cooperation with any Government-authorized investigation

L0:of incidents reported pursuant to paragraph (c)(1)(iv) of this clause and incidents of

L0:alleged misconduct by personnel performing private security functions under this

L0:contract by providing?

L1:(i) Access to employees performing private security functions; and

L1:(ii) Relevant information in the possession of the Contractor regarding

L0:the incident concerned; and

L1:(4) Comply with ANSI/ASIS PSC.1-2012, American National Standard,

L0:Management System for Quality of Private Security Company Operations?

L0:Requirements with Guidance or the International Standard ISO 18788,

L0:Management System for Private Security Operations?Requirements with

L0:Guidance (located at <http://www.acq.osd.mil/log/PS/psc.html>).

L1:(d) Remedies. In addition to other remedies available to the Government?

L1:(1) The Contracting Officer may direct the Contractor, at its own expense, to

L0:remove and replace any Contractor or subcontractor personnel performing private

L0:security functions who fail to comply with or violate applicable requirements of this

L0:clause or 32 CFR part 159. Such action may be taken at the Government's

L0:discretion without prejudice to its rights under any other provision of this contract;

L1:(2) The Contractor's failure to comply with the requirements of this clause

L0:will be included in appropriate databases of past performance and considered in any

L0:responsibility determination or evaluation of past performance; and

L1:(3) If this is an award-fee contract, the Contractor's failure to comply with

L0:the requirements of this clause shall be considered in the evaluation of the

L0:Contractor's performance during the relevant evaluation period, and the

L0:Contracting Officer may treat such failure to comply as a basis for reducing or

L0:denying award fees for such period or for recovering all or part of award fees

L0:previously paid for such period.

L1:(e) Rule of construction. The duty of the Contractor to comply with the

L0:requirements of this clause shall not be reduced or diminished by the failure of a

L0:higher- or lower-tier Contractor or subcontractor to comply with the clause

L0:requirements or by a failure of the contracting activity to provide required

L0:oversight.

L1:(f) Subcontracts. The Contractor shall include the substance of this clause,

L0:including this paragraph (f), in subcontracts, including subcontracts for commercial

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:products or commercial services, when private security functions will be performed

L0:outside the United States in areas of?

L1:(1) Contingency operations;

L1:(2) Combat operations, as designated by the Secretary of Defense;
 L1:(3) Other significant military operations (as defined in 32 CFR part 159),
 L0:designated by the Secretary of Defense upon agreement of the Secretary of State;
 L1:(4) Peace operations, consistent with Joint Publication 3-07.3; or
 L1:(5) Other military operations or military exercises, when designated by the
 L0:Combatant Commander.
 L0:(End of clause)

252.225-7040 Contractor Personnel Supporting U.S. Armed Forces Deployed

Status: active

L0:252.225-7040 Contractor Personnel Supporting U.S. Armed Forces Deployed
 L0:Outside the United States.

L0:As prescribed in 222.771-5(a), use the following clause:

L0:CONTRACTOR PERSONNEL SUPPORTING U.S. ARMED FORCES DEPLOYED L0:OUTSIDE THE UNITED STATES (AUG 2025)

L1:(a) Definitions. As used in this clause?

L0:?"Combatant Commander?" means the commander of a unified or specified combatant
 L0:command established in accordance with 10 U.S.C. 161.

L0:?"Contractors authorized to accompany the Force,?" or ?CAAF,?" means contractor

L0:personnel, including all tiers of subcontractor personnel, who are authorized to

L0:accompany U.S. Armed Forces in applicable operations and have been afforded CAAF

L0:status through a letter of authorization. CAAF generally include all U.S. citizen n and

L0:third-country national employees not normally residing within the operational area

L0:whose area of performance is in the direct vicinity of U.S. Armed Forces and who

L0:routinely are collocated with the U.S. Armed Forces (especially in non-permissive

L0:environments). Personnel collocated with U.S. Armed Forces shall be afforded CAAF

L0:status through a letter of authorization. In some cases, Combatant Commander

L0:subordinate commanders may designate mission-essential host nation or local national

L0:contractor employees (e.g., interpreters) as CAAF. CAAF includes contractors

L0:previously identified as contractors deploying with the U.S. Armed Forces. CAAF

L0:status does not apply to contractor personnel in support of applicable operations within

L0:the boundaries and territories of the United States.

L0:?"Designated operational area?" means a geographic area designated by the

L0:combatant commander or subordinate joint force commander for the conduct or

L0:support of specified military operations.

L0:?"Designated reception site?" means the designated place for the reception,

L0:staging, integration, and onward movement of contractors deploying during a

L0:contingency. The designated reception site includes assigned joint reception centers

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:and other Service or private reception sites.

L0:?"Law of war?" means that part of international law that regulates the conduct of

L0:armed hostilities. The law of war encompasses all international law for the conduct of

L0:hostilities binding on the United States or its individual citizens, including treaties and
L0:international agreements to which the United States is a party, and applicable
L0:customary international law.

L0:Non-CAAF means personnel who are not designated as CAAF, such as local
L0:national (LN) employees and non-LN employees who are permanent residents in
L0:the operational area or third-country nationals not routinely residing with U.S.
L0:Armed Forces (and third-country national expatriates who are permanent residents
L0:in the operational area) who perform support functions away from the close
L0:proximity of, and do not reside with, U.S. Armed Forces. Government-furnished
L0:support to non-CAAF is typically limited to force protection, emergency medical
L0:care, and basic human needs (e.g., bottled water, latrine facilities, security, and food
L0:when necessary) when performing their jobs in the direct vicinity of U.S. Armed
L0:Forces. Non-CAAF status does not apply to contractor personnel in support of
L0:applicable operations within the boundaries and territories of the United States.
L0:Subordinate joint force commander means a sub-unified commander or joint
L0:task force commander.

L1:(b) General.

L1:(1) This clause applies to both CAAF and non-CAAF when performing in a
L0:designated operational area outside the United States to support U.S. Armed Forces
L0:deployed outside the United States in?

L1:(i) Contingency operations;

L1:(ii) Peace operations, consistent with Joint Publication 3-07.3; or

L1:(iii) Other military operations or military exercises, when designated by the
L0:Combatant Commander or as directed by the Secretary of Defense.

L1:(2) Contract performance in support of U.S. Armed Forces deployed outside the
L0:United States may require work in dangerous or austere conditions. Except as
L0:otherwise provided in the contract, the Contractor accepts the risks associated with
L0:required contract performance in such operations.

L1:(3) When authorized in accordance with paragraph (j) of this clause to carry
L0:arms for personal protection, Contractor personnel are only authorized to use force for
L0:individual self-defense.

L1:(4) Unless immune from host nation jurisdiction by virtue of an international
L0:agreement or international law, inappropriate use of force by contractor personnel
L0:supporting the U.S. Armed Forces can subject such personnel to United States or host
L0:nation prosecution and civil liability (see paragraphs (d) and (j)(3) of this clause).

L1:(5) Service performed by Contractor personnel subject to this clause is not

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:active duty or service under 38 U.S.C. 106 note.

L1:(c) Support.

L2:(1)(i) The Combatant Commander will develop a security plan for protection of
L0:Contractor personnel in locations where there is not sufficient or legitimate civil
L0:authority, when the Combatant Commander decides it is in the interests of the
L0:Government to provide security because?

L1:(A) The Contractor cannot obtain effective security services;

L1:(B) Effective security services are unavailable at a reasonable cost; or

L1:(C) Threat conditions necessitate security through military means.

L1:(ii) In appropriate cases, the Combatant Commander may provide security

L0:through military means, commensurate with the level of security provided DoD

L0:civilians.

L2:(2)(i) Generally, CAAF will be afforded emergency medical and dental care if

L0:injured while supporting applicable operations. Additionally, non-CAAF employees who

L0:are injured while in the vicinity of U. S. Armed Forces will normally receive emergency

L0:medical and dental care. Emergency medical and dental care includes medical care

L0:situations in which life, limb, or eyesight is jeopardized. Examples of emergency

L0:medical and dental care include examination and initial treatment of victims of sexual

L0:assault; refills of prescriptions for life-dependent drugs; repair of broken bones,

L0:lacerations, infections; and traumatic injuries to the dentition. Hospitalization will be

L0:limited to stabilization and short-term medical treatment with an emphasis on return

L0:to duty or placement in the patient movement system.

L1:(ii) When the Government provides medical treatment or transportation of

L0:Contractor personnel to a selected civilian facility, the Contractor shall ensure that the

L0:Government is reimbursed for any costs associated with such treatment or

L0:transportation.

L1:(iii) Medical or dental care beyond this standard is not authorized.

L1:(3) Contractor personnel must have a Synchronized Predeployment and

L0:Operational Tracker (SPOT)-generated letter of authorization signed by the

L0:Contracting Officer in order to process through a deployment center or to travel to,

L0:from, or within the designated operational area. The letter of authorization also will

L0:identify any additional authorizations, privileges, or Government support that

L0:Contractor personnel are entitled to under this contract. Contractor personnel who are

L0:issued a letter of authorization shall carry it with them at all times while deployed.

L1:(4) Unless specified elsewhere in this contract, the Contractor is responsible for

L0:all other support required for its personnel engaged in the designated operational area

L0:under this contract.

L1:(d) Compliance with laws and regulations.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(1) The Contractor shall comply with, and shall ensure that its personnel

L0:supporting U.S. Armed Forces deployed outside the United States as specified in

L0:paragraph (b)(1) of this clause are familiar with and comply with, all applicable?

L1:(i) United States, host country, and third country national laws;

L1:(ii) Provisions of the law of war, as well as any other applicable treaties and

L0:international agreements;

L1:(iii) United States regulations, directives, instructions, policies, and

L0:procedures; and

L1:(iv) Orders, directives, and instructions issued by the Combatant

L0:Commander, including those relating to force protection, security, health, safety, or

L0:relations and interaction with local nationals.

L1:(2) The Contractor shall institute and implement an effective program to

L0:prevent violations of the law of war by its employees and subcontractors, including law
L0:of war training in accordance with paragraph (e)(1)(vii) of this clause.

L1:(3) The Contractor shall ensure that CAAF and non-CAAF are aware?
L1:(i) Of the DoD definition of "sexual assault" in DoD Directive 6495.01,
L0:Sexual Assault Prevention and Response Program;
L1:(ii) That the offenses addressed by the definition are covered under the
L0:Uniform Code of Military Justice (see paragraph (e)(2)(iv) of this clause). Other sexual
L0:misconduct may constitute offenses under the Uniform Code of Military Justice,
L0:Federal law, such as the Military Extraterritorial Jurisdiction Act, or host nation laws;
L0:and
L1:(iii) That the offenses not covered by the Uniform Code of Military Justice
L0:may nevertheless have consequences to the contractor employees (see paragraph (h)(1)
L0:of this clause).

L1:(4) The Contractor shall report to the appropriate investigative authorities,
L0:identified in paragraph (d)(6) of this clause, any alleged offenses under?
L1:(i) The Uniform Code of Military Justice (chapter 47 of title 10, United
L0:States Code) (applicable to contractors serving with or accompanying an armed force in
L0:the field during a declared war or contingency operations); or
L1:(ii) The Military Extraterritorial Jurisdiction Act (chapter 212 of title 18,
L0:United States Code).

L1:(5) The Contractor shall provide to all contractor personnel who will perform
L0:work on a contract in the deployed area, before beginning such work, information on the
L0:following:
L1:(i) How and where to report an alleged crime described in paragraph (d)(4)
L0:of this clause.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L1:(ii) Where to seek victim and witness protection and assistance available to
L0:contractor personnel in connection with an alleged offense described in paragraph (d)(4)
L0:of this clause.
L1:(iii) That this section does not create any rights or privileges that are not
L0:authorized by law or DoD policy.

L1:(6) The appropriate investigative authorities to which suspected crimes shall be
L0:reported include the following?
L1:(i) US Army Criminal Investigation Command at <http://www.cid.army.mil/>;
L1:(ii) Air Force Office of Special Investigations at <https://www.osi.af.mil/>;
L1:(iii) Navy Criminal Investigative Service at <http://www.ncis.navy.mil/>;
L1:(iv) Defense Criminal Investigative Service at <http://www.dodig.mil/>;
L1:(v) To any command of any supported military element or the command of
L0:any base.

L1:(7) Personnel seeking whistleblower protection from reprisals for reporting
L0:criminal acts shall seek guidance through the DoD Inspector General hotline at 800-
L0:424-9098 or www.dodig.mil/. Personnel seeking other forms of victim or witness
L0:protections should contact the nearest military law enforcement office.

L2:(8)(i) The Contractor shall ensure that Contractor employees supporting the U.S.

L0:Armed Forces are aware of their rights to?

L0:passport or driver's license, regardless of the documents' issuing authority;

L1:(A) Hold their own identity or immigration documents, such as

L1:(B) Receive agreed upon wages on time;

L1:(C) Take lunch and work-breaks;

L1:(D) Elect to terminate employment at any time;

L1:(E) Identify grievances without fear of reprisal;

L0:understand;

L1:(F) Have a copy of their employment contract in a language they

L0:minimum wage;

L1:(G) Receive wages that are not below the legal host-country

L0:to signing their employment contract; and

L1:(H) Be notified of their rights, wages, and prohibited activities prior

L0:housing and safety standards.

L1:(I) If housing is provided, live in housing that meets host-country

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(ii) The Contractor shall post these rights in employee work spaces in

L0:English and in any foreign language(s) spoken by a significant portion of the

L0:workforce.

L1:(iii) The Contractor shall enforce the rights of Contractor personnel

L0:supporting the U.S. Armed Forces.

L1:(e) Preliminary personnel requirements.

L1:(1) The Contractor shall ensure that the following requirements are met prior to

L0:deploying CAAF (specific requirements for each category will be specified in the

L0:statement of work or elsewhere in the contract):

L1:(i) All required security and background checks are complete and

L0:acceptable.

L1:(ii) All CAAF deploying in support of an applicable operation?

L0:performance of their contracted duties;

L1:(A) Are medically, dentally, and psychologically fit for deployment and

L1:(B) Meet the minimum medical screening requirements, including

L0:theater-specific medical qualifications as established by the geographic Combatant

L0:Commander (as posted to the Geographic Combatant Commander's website or other

L0:venue); and

L0:contract.

L1:(C) Have received all required immunizations as specified in the

L1:(1) During predeployment processing, the Government will provide,

L0:at no cost to the Contractor, any military-specific immunizations and/or medications not

L0:available to the general public.

L0:the deployment center.

L1:(2) All other immunizations shall be obtained prior to arrival at

L1:(3) All CAAF and selected non-CAAF, as specified in the statement

L0:of work, shall bring to the designated operational area a copy of the U.S. Centers for

L0:Disease Control and Prevention (CDC) Form 731, International Certificate of

L0:Vaccination or Prophylaxis as Approved by the World Health Organization, (also known L0:as ?shot record? or ?Yellow Card?) that shows vaccinations are current.

L1:(iii) Deploying personnel have all necessary passports, visas, and other L0:documents required to enter and exit a designated operational area and have a Geneva L0:Conventions identification card, or other appropriate DoD identity credential, from the L0:deployment center.

L1:(iv) Special area, country, and theater clearance is obtained for all personnel L0:deploying. Clearance requirements are in DoD Directive 4500.54E, DoD Foreign L0:Clearance Program. For this purpose, CAAF are considered non-DoD contactor L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25 L0:Defense FAR Supplement (DFARS) Part 225

L0:personnel traveling under DoD sponsorship.

L1:(v) All deploying personnel have received personal security training. At a L0:minimum, the training shall?

L1:(A) Cover safety and security issues facing employees overseas;

L1:(B) Identify safety and security contingency planning activities; and

L1:(C) Identify ways to utilize safety and security personnel and other L0:resources appropriately.

L1:(vi) All personnel have received isolated personnel training, if specified in L0:the contract, in accordance with DoD Instruction 1300.23, Isolated Personnel Training L0:for DoD Civilian and Contractors.

L1:(vii) Personnel have received law of war training as follows: L0:provided through?

L1:(A) Basic training is required for all CAAF. The basic training will be

L1:(1) A military-run training center; or L0:the Contracting Officer.

L1:(2) A web-based source, if specified in the contract or approved by

L1:(B) Advanced training, commensurate with their duties and L0:responsibilities, may be required for some Contractor personnel as specified in the L0:contract.

L1:(2) The Contractor shall notify all personnel who are not a host country L0:national, or who are not ordinarily resident in the host country, that?

L1:(i) Such employees, and dependents residing with such employees, who L0:engage in conduct outside the United States that would constitute an offense L0:punishable by imprisonment for more than one year if the conduct had been engaged in L0:within the special maritime and territorial jurisdiction of the United States, may L0:potentially be subject to the criminal jurisdiction of the United States in accordance L0:with the Military Extraterritorial Jurisdiction Act of 2000 (18 U.S.C. 3621, et seq.);

L1:(ii) Pursuant to the War Crimes Act (18 U.S.C. 2441), Federal criminal L0:jurisdiction also extends to conduct that is determined to constitute a war crime when L0:committed by a civilian national of the United States;

L1:(iii) Other laws may provide for prosecution of U.S. nationals who commit L0:offenses on the premises of U.S. diplomatic, consular, military or other U.S. L0:Government missions outside the United States (18 U.S.C. 7(9)); and

L1:(iv) In time of declared war or a contingency operation, CAAF are subject to

L0:the jurisdiction of the Uniform Code of Military Justice under 10 U.S.C. 802(a)(10).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(v) Such employees are required to report offenses alleged to have been

L0:committed by or against Contractor personnel to appropriate investigative authorities.

L1:(vi) Such employees will be provided victim and witness protection and

L0:assistance.

L1:(f) Processing and departure points. CAAF shall?

L1:(1) Process through the deployment center designated in the contract, or as

L0:otherwise directed by the Contracting Officer, prior to deploying. The deployment

L0:center will conduct deployment processing to ensure visibility and accountability of

L0:Contractor personnel and to ensure that all deployment requirements are met,

L0:including the requirements specified in paragraph (e)(1) of this clause;

L1:(2) Use the point of departure and transportation mode directed by the

L0:Contracting Officer; and

L1:(3) Process through a designated reception site (DRS) upon arrival at the

L0:deployed location. The DRS will validate personnel accountability, ensure that specific

L0:designated operational area entrance requirements are met, and brief Contractor

L0:personnel on theater-specific policies and procedures.

L1:(g) Personnel data.

L1:(1) The Contractor shall use the Synchronized Predeployment and Operational

L0:Tracker (SPOT) web-based system, to enter and maintain the data for all CAAF

L0:and, as designated by the Under Secretary of Defense (Acquisition and

L0:Sustainment) or the Combatant Commander, non-CAAF supporting U.S. Armed

L0:Forces deployed outside the United States as specified in paragraph (b)(1) of this

L0:clause.

L1:(2) The Contractor shall enter the required information about their contractor

L0:personnel prior to deployment and shall continue to use the SPOT web-based

L0:system at <https://spot.dmdc.mil> to maintain accurate, up-to-date information

L0:throughout the deployment for all Contractor personnel. Changes to status of

L0:individual Contractor personnel relating to their in-theater arrival date and their

L0:duty location, to include closing out the deployment with their proper status (e.g.,

L0:mission complete, killed, wounded) shall be annotated within the SPOT database in

L0:accordance with the timelines established in the SPOT Business Rules at

L0:<https://www.acq.osd.mil/asds/log/cso/ocs/spot.html>.

L1:(h) Contractor personnel.

L1:(1) The Contracting Officer may direct the Contractor, at its own expense, to

L0:remove and replace any Contractor personnel who jeopardize or interfere with mission

L0:accomplishment or who fail to comply with or violate applicable requirements of this

L0:contract. Such action may be taken at the Government's discretion without prejudice to

L0:its rights under any other provision of this contract, including the Termination for

L0:Default clause.

L1:(2) The Contractor shall identify all personnel who occupy a position designated

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:as mission essential and ensure the continuity of essential Contractor services during
L0:designated operations, unless, after consultation with the Contracting Officer,
L0:Contracting Officer's representative, or local commander, the Contracting Officer
L0:directs withdrawal due to security conditions.

L1:(3) The Contractor shall ensure that Contractor personnel follow the guidance
L0:at paragraph (e)(2)(v) of this clause and any specific Combatant Commander guidance
L0:on reporting offenses alleged to have been committed by or against Contractor
L0:personnel to appropriate investigative authorities.

L1:(4) Contractor personnel shall return all U.S. Government-issued
L0:identification, to include the Common Access Card, to appropriate U.S. Government
L0:authorities at the end of their deployment (or, for non-CAAF, at the end of their
L0:employment under this contract).

L1:(i) Military clothing and protective equipment.

L1:(1) Contractor personnel are prohibited from wearing military clothing unless
L0:specifically authorized in writing by the Combatant Commander. If authorized to wear
L0:military clothing, Contractor personnel must?

L1:(i) Wear distinctive patches, arm bands, nametags, or headgear, in order to
L0:be distinguishable from military personnel, consistent with force protection measures;
L0:and

L1:(ii) Carry the written authorization with them at all times.

L1:(2) Contractor personnel may wear military-unique organizational clothing and
L0:individual equipment (OCIE) required for safety and security, such as ballistic, nuclear,
L0:biological, or chemical protective equipment.

L1:(3) The deployment center, or the Combatant Commander, shall issue OCIE
L0:and shall provide training, if necessary, to ensure the safety and security of Contractor
L0:personnel.

L1:(4) The Contractor shall ensure that all issued OCIE is returned to the point of
L0:issue, unless otherwise directed by the Contracting Officer.

L1:(j) Weapons.

L1:(1) If the Contractor requests that its personnel performing in the designated
L0:operational area be authorized to carry weapons for individual self-defense, the request
L0:shall be made through the Contracting Officer to the Combatant Commander, in
L0:accordance with DoD Instruction 3020.41, Operational Contractor Support. The
L0:Combatant Commander will determine whether to authorize in-theater Contractor
L0:personnel to carry weapons and what weapons and ammunition will be allowed.

L1:(2) If Contractor personnel are authorized to carry weapons in accordance with
L0:paragraph (j)(1) of this clause, the Contracting Officer will notify the Contractor what
L0:weapons and ammunition are authorized.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

L1:(3) The Contractor shall ensure that its personnel who are authorized to carry
L0:weapons?

L1:(i) Are adequately trained to carry and use them?

L1:(A) Safely;

L0:force issued by the Combatant Commander; and

L1:(B) With full understanding of, and adherence to, the rules of the use of

L1:(C) In compliance with applicable agency policies, agreements, rules,
L0:regulations, and other applicable law;

L1:(ii) Are not barred from possession of a firearm by 18 U.S.C. 922;

L1:(iii) Adhere to all guidance and orders issued by the Combatant
L0:Commander regarding possession, use, safety, and accountability of weapons and
L0:ammunition;

L1:(iv) Comply with applicable Combatant Commander and local commander
L0:force-protection policies; and

L1:(v) Understand that the inappropriate use of force could subject them to
L0:U.S. or host-nation prosecution and civil liability.

L1:(4) Whether or not weapons are Government-furnished, all liability for the use
L0:of any weapon by Contractor personnel rests solely with the Contractor and the
L0:Contractor employee using such weapon.

L1:(5) Upon redeployment or revocation by the Combatant Commander of the
L0:Contractor's authorization to issue firearms, the Contractor shall ensure that all
L0:Government-issued weapons and unexpended ammunition are returned as directed by
L0:the Contracting Officer.

L1:(k) Vehicle or equipment licenses. Contractor personnel shall possess the required
L0:licenses to operate all vehicles or equipment necessary to perform the contract in the
L0:designated operational area.

L1:(l) Purchase of scarce goods and services. If the Combatant Commander has
L0:established an organization for the designated operational area whose function is to
L0:determine that certain items are scarce goods or services, the Contractor shall
L0:coordinate with that organization local purchases of goods and services designated as
L0:scarce, in accordance with instructions provided by the Contracting Officer.

L1:(m) Evacuation.

L1:(1) If the Combatant Commander orders a mandatory evacuation of some or all
L0:personnel, the Government will provide assistance, to the extent available, to United
L0:States and third country national Contractor personnel.

L1:(2) In the event of a non-mandatory evacuation order, unless authorized in
L0:writing by the Contracting Officer, the Contractor shall maintain personnel on location
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L0:sufficient to meet obligations under this contract.

L1:(n) Next of kin notification and personnel recovery.

L1:(1) The Contractor shall be responsible for notification of the employee-
L0:designated next of kin in the event an employee dies, requires evacuation due to an
L0:injury, or is isolated, missing, detained, captured, or abducted.

L1:(2) In the case of isolated, missing, detained, captured, or abducted Contractor
L0:personnel, the Government will assist in personnel recovery actions in accordance with
L0:DoD Directive 3002.01E, Personnel Recovery in the Department of Defense.

L1:(o) Mortuary affairs. Contractor personnel who die while in support of the U.S.
L0:Armed Forces shall be covered by the DoD mortuary affairs program as described in
L0:DoD Directive 1300.22, Mortuary Affairs Policy, and DoD Instruction 3020.41,

L0:Operational Contractor Support.

L1:(p) Changes. In addition to the changes otherwise authorized by the Changes

L0:clause of this contract, the Contracting Officer may, at any time, by written order

L0:identified as a change order, make changes in the place of performance or Government-

L0:furnished facilities, equipment, material, services, or site. Any change order issued in

L0:accordance with this paragraph (p) shall be subject to the provisions of the Changes

L0:clause of this contract.

L1:(q) Subcontracts. The Contractor shall incorporate the substance of this clause,

L0:including this paragraph (q), in all subcontracts when subcontractor personnel are

L0:supporting U.S. Armed Forces deployed outside the United States in?

L1:(1) Contingency operations;

L1:(2) Peace operations consistent with Joint Publication 3-07.3; or

L1:(3) Other military operations or military exercises, when designated by the

L0:Combatant Commander or as directed by the Secretary of Defense.

252.225-7041 Correspondence in English

Status: active

L0:252.225-7041 Correspondence in English.

L0:As prescribed in 225.603(2), use the following clause:

L0:(End of clause)

L0:CORRESPONDENCE IN ENGLISH (JUN 1997)

L0:The Contractor shall ensure that all contract correspondence that is addressed to the

L0:United States Government is submitted in English or with an English translation.

252.225-7963 Antiterrorism/Force Protection for Defense Contractors Outside

Status: active

L0:252.225-7963 Antiterrorism/Force Protection for Defense Contractors Outside

L0:the United States.

L0:As prescribed in 225.772-2, use the following clause:

L0:ANTITERRORISM/FORCE PROTECTION POLICY FOR DEFENSE

L0:CONTRACTORS OUTSIDE THE UNITED STATES (DEVIATION 2026-O0041) (FEB

L0:2026)

L1:(a) Definition. ?United States,? as used in this clause, means, the 50 States, the

L0:District of Columbia, and outlying areas.

L1:(b) Except as provided in paragraph (c) of this clause, the Contractor and its

L0:subcontractors, if performing or traveling outside the United States under this contract,

L0:shall?

L1:(1) Affiliate with the Overseas Security Advisory Council, if the Contractor or

L0:subcontractor is a U.S. entity;

L1:(2) Ensure that Contractor and subcontractor personnel who are U.S. nationals

L0:and are in-country on a non-transitory basis, register with the U.S. Embassy, and that

L0:Contractor and subcontractor personnel who are third country nationals comply with
L0:any security related requirements of the Embassy of their nationality;
L1:(3) Provide, to Contractor and subcontractor personnel, antiterrorism/force
L0:protection awareness information commensurate with that which the Department of
L0:Defense (DoD) provides to its military and civilian personnel and their families, to the
L0:extent such information can be made available prior to travel outside the United States;
L0:and
L1:(4) Obtain and comply with the most current antiterrorism/force protection
L0:guidance for Contractor and subcontractor personnel.
L1:(c) The requirements of this clause do not apply to any subcontractor that is?
L1:(1) A foreign government;
L1:(2) A representative of a foreign government; or
L1:(3) A foreign corporation wholly owned by a foreign government.
L1:(d) Information and guidance pertaining to DoD antiterrorism/force protection can
L0:be obtained from (Contracting Officer to insert applicable information cited in
L0:PGI 225.772-1).
L0:(End of clause)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

252.225-7044 Balance of Payments Program--Construction Material

Status: active

L0:252.225-7044 Balance of Payments Program--Construction Material.
L0:Basic. As prescribed in 225.7503(a) and (a)(1), use the following clause:
L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL?BASIC
L0:(FEB 2024)
L1:(a) Definitions. As used in this clause?
L0:?Commercially available off-the-shelf (COTS) item??
L1:(1) Means any item of supply (including construction material) that is?
L1:(i) A commercial product (as defined in paragraph (1) of the definition of
L0:?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));
L1:(ii) Sold in substantial quantities in the commercial marketplace; and
L1:(iii) Offered to the Government, under a contract or subcontract at any tier,
L0:without modification, in the same form in which it is sold in the commercial
L0:marketplace; and
L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as
L0:agricultural products and petroleum products.
L0:?Component? means any article, material, or supply incorporated directly into
L0:construction material.
L0:?Construction material? means an article, material, or supply brought to the
L0:construction site by the Contractor or a subcontractor for incorporation into the building
L0:or work. The term also includes an item brought to the site preassembled from articles,
L0:materials, or supplies. However, emergency life safety systems, such as emergency

L0:lighting, fire alarm, and audio evacuation systems, that are discrete systems

L0:incorporated into a public building or work and that are produced as complete systems,

L0:are evaluated as a single and distinct construction material regardless of when or how

L0:the individual parts or components of those systems are delivered to the construction

L0:site. Materials purchased directly by the Government are supplies, not construction

L0:material.

L0:?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including

L0:transportation costs to the place of incorporation into the end product (whether or not

L0:such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-

L0:free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with

L0:the manufacture of the component, including transportation costs as described in

L0:paragraph (1) of this definition, plus allocable overhead costs, but excluding profit. Cost

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:of components does not include any costs associated with the manufacture of the

L0:construction material.

L0:?Critical component? means a component that is mined, produced, or manufactured

L0:in the United States and deemed critical to the U.S. supply chain. The list of critical

L0:components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that

L0:is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of

L0:iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the

L0:United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the

L0:United States exceeds 60 percent of the cost of all its components, except that the

L0:percentage will be 65 percent for items delivered in calendar years 2024 through 2028

L0:and 75 percent for items delivered starting in calendar year 2029, unless an alternate

L0:percentage is established for a contract in accordance with FAR 25.201(c). Components

L0:of foreign origin of the same class or kind for which nonavailability determinations have

L0:been made are treated as domestic. Components of unknown origin are treated as

L0:foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or

L0:steel or a combination of both, a construction material manufactured in the United

L0:States if the cost of iron and steel not produced in the United States (excluding

L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of

L0:the cost of all the components used in such construction material (produced in the

L0:United States means that all manufacturing processes of the iron or steel must take

L0:place in the United States, except metallurgical processes involving refinement of steel

L0:additives). The cost of iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material contains multiple components, the cost of all the materials used in such construction material is calculated in accordance with the definition of "cost of components" in this clause.

L0:"Predominantly of iron or steel or a combination of both" means that the cost of the iron and steel content exceeds 50 percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25 Defense FAR Supplement (DFARS) Part 225 wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith estimate of the cost of iron or steel components excluding COTS fasteners.

L0:"Steel" means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other elements.

L0:"United States" means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Domestic preference. This clause implements the Balance of Payments Program by providing a preference for domestic construction material. The Contractor shall use only domestic construction material in performing this contract, except for:

L1:(1) Construction material valued at or below the simplified acquisition

L0:threshold in part 2 of the Federal Acquisition Regulation;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as

L0:follows:

L0: _____

L0:[Contracting Officer to list applicable excepted materials or indicate "none"]

L0:Alternate I. [Reserved]

L0:(End of clause)

L0:Alternate II. As prescribed in 225.7503(a) and (a)(3), use the following clause, which includes, in the definition of "domestic construction material" at paragraph (1)(ii)(A), the domestic content threshold that will apply to the entire contract period of performance:

L0: BALANCE OF PAYMENTS PROGRAM? CONSTRUCTION MATERIAL?

L0: ALTERNATE II (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:"Commercially available off-the-shelf (COTS) item"?

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of

L0:"commercial product" in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier,

L0:without modification, in the same form in which it is sold in the commercial

L0:marketplace; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as

L0:agricultural products and petroleum products.

L0:?"Component?" means any article, material, or supply incorporated directly into

L0:construction material.

L0:?"Construction material?" means an article, material, or supply brought to the

L0:construction site by the Contractor or a subcontractor for incorporation into the building

L0:or work. The term also includes an item brought to the site preassembled from articles,

L0:materials, or supplies. However, emergency life safety systems, such as emergency

L0:lighting, fire alarm, and audio evacuation systems, that are discrete systems

L0:incorporated into a public building or work and that are produced as complete systems,

L0:are evaluated as a single and distinct construction material regardless of when or how

L0:the individual parts or components of those systems are delivered to the construction

L0:site. Materials purchased directly by the Government are supplies, not construction

L0:material.

L0:?"Cost of components?" means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including

L0:transportation costs to the place of incorporation into the end product (whether or not

L0:such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-

L0:free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with

L0:the manufacture of the component, including transportation costs as described in

L0:paragraph (1) of this definition, plus allocable overhead costs, but excluding profit. Cost

L0:of components does not include any costs associated with the manufacture of the

L0:construction material.

L0:?"Critical component?" means a component that is mined, produced, or manufactured

L0:in the United States and deemed critical to the U.S. supply chain. The list of critical

L0:components is at FAR 25.105.

L0:?"Critical item?" means domestic construction material or a domestic end product that

L0:is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?"Domestic construction material?" means?

L1:(1) For construction material that does not consist wholly or predominantly of

L0:iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the

L0:United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the

L0:United States exceeds, for the entire period of performance for a contract awarded in:

L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024

L0:through 2028, 65 percent of the cost of all its components; or calendar year 2029 or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:later, 75 percent of the cost of all its components. Components of foreign origin of the
L0:same class or kind for which nonavailability determinations have been made are
L0:treated as domestic. Components of unknown origin are treated as foreign; or
L1:(B) The construction material is a COTS item; or
L1:(2) For construction material that consists wholly or predominantly of iron or
L0:steel or a combination of both, a construction material manufactured in the United
L0:States if the cost of iron and steel not produced in the United States (excluding
L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of
L0:the cost of all the components used in such construction material (produced in the
L0:United States means that all manufacturing processes of the iron or steel must take
L0:place in the United States, except metallurgical processes involving refinement of steel
L0:additives). The cost of iron and steel not produced in the United States includes but is
L0:not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate,
L0:or sheet), castings, or forgings, not produced in the United States, utilized in the
L0:manufacture of the end product and a good faith estimate of the cost of all iron or steel
L0:components not produced in the United States, excluding COTS fasteners. Iron or steel
L0:components of unknown origin are treated as foreign. If the construction material
L0:contains multiple components, the cost of all the materials used in such construction
L0:material is calculated in accordance with the definition of "cost of components" in this
L0:clause.

L0:"Predominantly of iron or steel or a combination of both" means that the cost of the
L0:iron and steel content exceeds 50 percent of the total cost of all its components. The cost
L0:of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab,
L0:wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product
L0:and a good faith estimate of the cost of iron or steel components excluding COTS
L0:fasteners.

L0:"Steel" means an alloy that includes at least 50 percent iron, between 0.02 and 2
L0:percent carbon, and may include other elements.

L0:"United States" means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Domestic preference. This clause implements the Balance of Payments Program
L0:by providing a preference for domestic construction material. The Contractor shall use
L0:only domestic construction material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition
L0:threshold in FAR part 2;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as
L0:follows:

L0:[Contracting Officer to list applicable excepted materials or indicate "none?"].

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L0:Alternate III. [Reserved]

252.225-7045 Balance of Payments Program--Construction Material Under

L0:252.225-7045 Balance of Payments Program--Construction Material Under
L0:Trade Agreements.

L0:Basic. As prescribed in 225.7503(b) and (b)(1), use the following clause:

**L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER
L0:TRADE AGREEMENTS?BASIC (FEB 2024)**

L1:(a) Definitions. As used in this clause?

L0:?Caribbean Basin country construction material? means a construction material
L0:that?

L0:or

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country;

L1:(2) In the case of a construction material that consists in whole or in part of

L0:materials from another country, has been substantially transformed in a Caribbean

L0:Basin country into a new and different construction material distinct from the materials

L0:from which it was transformed.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of

L0:?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier,

L0:without modification, in the same form in which it is sold in the commercial

L0:marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of

L0:1984 (46 U.S.C. 40102), such as agricultural products and petroleum products.

L0:?Component? means any article, material, or supply incorporated directly into

L0:construction material.

L0:?Construction material? means an article, material, or supply brought to the

L0:construction site by the Contractor or a subcontractor for incorporation into the building

L0:or work. The term also includes an item brought to the site preassembled from articles,

L0:materials, or supplies. However, emergency life safety systems, such as emergency

L0:lighting, fire alarm, and audio evacuation systems, that are discrete systems

L0:incorporated into a public building or work and that are produced as complete systems,

L0:are evaluated as a single and distinct construction material regardless of when or how

L0:the individual parts or components of those systems are delivered to the construction

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:site. Materials purchased directly by the Government are supplies, not construction

L0:material.

L0:?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including

L0:transportation costs to the place of incorporation into the end product (whether or not

L0:such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-

L0:free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with
 L0:the manufacture of the component, including transportation costs as described in
 L0:paragraph (1) of this definition, plus allocable overhead costs, but excluding profit. Cost
 L0:of components does not include any costs associated with the manufacture of the
 L0:construction material.

L0:?"Critical component?" means a component that is mined, produced, or manufactured
 L0:in the United States and deemed critical to the U.S. supply chain. The list of critical
 L0:components is at FAR 25.105.

L0:?"Critical item?" means domestic construction material or a domestic end product that
 L0:is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:?"Designated country?" means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO
 L0:GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada,
 L0:Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,
 L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of),
 L0:Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro,
 L0:Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania,
 L0:Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in
 L0:the World Trade Organization as "the Separate Customs Territory of Taiwan, Penghu,
 L0:Kinmen, and Matsu" (Chinese Taipei)), Ukraine, or the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia,
 L0:Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic
 L0:of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin,
 L0:Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros,
 L0:Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia,
 L0:Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi,
 L0:Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe,
 L0:Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste,
 L0:Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas,
 L0:Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada,
 L0:Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent
 L0:and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:?"Designated country construction material?" means a construction material that is a
 L0:WTO GPA country construction material, a Free Trade Agreement country construction
 L0:material, a least developed country construction material, or a Caribbean Basin country
 L0:construction material.

L0:?"Domestic construction material?" means?

L1:(1) For construction material that does not consist wholly or predominantly of
 L0:iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the
 L0:United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the

L0:United States exceeds 60 percent of the cost of all its components, except that the

L0:percentage will be 65 percent for items delivered in calendar years 2024 through 2028

L0:and 75 percent for items delivered starting in calendar year 2029, unless an alternate

L0:percentage is established for a contract in accordance with FAR 25.201(c). Components

L0:of foreign origin of the same class or kind for which nonavailability determinations have

L0:been made are treated as domestic. Components of unknown origin are treated as

L0:foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or

L0:steel or a combination of both, a construction material manufactured in the United

L0:States if the cost of iron and steel not produced in the United States (excluding

L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of

L0:the cost of all the components used in such construction material (produced in the

L0:United States means that all manufacturing processes of the iron or steel must take

L0:place in the United States, except metallurgical processes involving refinement of steel

L0:additives). The cost of iron and steel not produced in the United States includes but is

L0:not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate,

L0:or sheet), castings, or forgings, not produced in the United States, utilized in the

L0:manufacture of the construction material and a good faith estimate of the cost of all iron

L0:or steel components not produced in the United States, excluding COTS fasteners. Iron

L0:or steel components of unknown origin are treated as foreign. If the construction

L0:material contains multiple components, the cost of all the materials used in such

L0:construction material is calculated in accordance with the definition of "cost of

L0:components" in this clause.

L0:"Free Trade Agreement country construction material" means a construction

L0:material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement

L0:country; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) In the case of a construction material that consists in whole or in part of

L0:materials from another country, has been substantially transformed in a Free Trade

L0:Agreement country into a new and different construction material distinct from the

L0:material from which it was transformed.

L0:"Least developed country construction material" means a construction material

L0:that?

L0:or

L1:(1) Is wholly the growth, product, or manufacture of a least developed country;

L1:(2) In the case of a construction material that consists in whole or in part of

L0:materials from another country, has been substantially transformed in a least

L0:developed country into a new and different construction material distinct from the

L0:materials from which it was transformed.

L0:"Predominantly of iron or steel or a combination of both" means that the cost of the

L0:iron and steel content exceeds 50 percent of the total cost of all its components. The cost
L0:of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab,
L0:wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product
L0:and a good faith estimate of the cost of iron or steel components excluding COTS
L0:fasteners.

L0:Steel means an alloy that includes at least 50 percent iron, between 0.02 and 2
L0:percent carbon, and may include other elements.

L0:United States means the 50 States, the District of Columbia, and outlying areas.

L0:WTO GPA country construction material means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of a construction material that consists in whole or in part of

L0:materials from another country, has been substantially transformed in a WTO GPA

L0:country into a new and different construction material distinct from the materials from

L0:which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a

L0:preference for domestic construction material. In addition, the Contracting Officer has

L0:determined that the WTO GPA and Free Trade Agreements apply to this acquisition.

L0:Therefore, the Balance of Payments Program restrictions are waived for designated

L0:country construction materials.

L1:(c) The Contractor shall use only domestic or designated country construction

L0:material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition

L0:threshold in part 2 of the Federal Acquisition Regulation;

L1:(2) Information technology that is a commercial product; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(3) The construction material or components listed by the Government as

L0:follows:

L0: _____

L0:[Contracting Officer to list applicable excepted materials or indicate ?none?]

L0:(End of clause)

L0:Alternate I. As prescribed in 225.7503(b) and (b)(2), use the following clause, which

L0:adds ?Bahraini or Mexican construction material? to paragraph (a), and uses a different

L0:paragraph (b) and (c) than the basic clause:

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER

L0:TRADE AGREEMENTS?ALTERNATE I (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:Bahraini or Mexican construction material means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain or Mexico; or

L1:(2) In the case of a construction material that consists in whole or in part of

L0:materials from another country, has been substantially transformed in Bahrain or

L0:Mexico into a new and different construction material distinct from the materials from

L0:which it was transformed.

L0:Caribbean Basin country construction material means a construction material

L0:that?

L0:or

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country;

L1:(2) In the case of a construction material that consists in whole or in part of

L0:materials from another country, has been substantially transformed in a Caribbean

L0:Basin country into a new and different construction material distinct from the materials

L0:from which it was transformed.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of

L0:?commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier,

L0:without modification, in the same form in which it is sold in the commercial

L0:marketplace; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of

L0:1984 (46 U.S.C. 40102), such as agricultural products and petroleum products.

L0:?Component? means any article, material, or supply incorporated directly into

L0:construction material.

L0:?Construction material? means an article, material, or supply brought to the

L0:construction site by the Contractor or a subcontractor for incorporation into the building

L0:or work. The term also includes an item brought to the site preassembled from articles,

L0:materials, or supplies. However, emergency life safety systems, such as emergency

L0:lighting, fire alarm, and audio evacuation systems, that are discrete systems

L0:incorporated into a public building or work and that are produced as complete systems,

L0:are evaluated as a single and distinct construction material regardless of when or how

L0:the individual parts or components of those systems are delivered to the construction

L0:site. Materials purchased directly by the Government are supplies, not construction

L0:material.

L0:?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including

L0:transportation costs to the place of incorporation into the end product (whether or not

L0:such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-

L0:free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with

L0:the manufacture of the component, including transportation costs as described in

L0:paragraph (1) of this definition, plus allocable overhead costs, but excluding profit. Cost

L0:of components does not include any costs associated with the manufacture of the

L0:construction material.

L0:?Critical component? means a component that is mined, produced, or manufactured

L0:in the United States and deemed critical to the U.S. supply chain. The list of critical

L0:components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that

L0:is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0: ?Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO

L0:GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada,

L0:Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of),

L0:Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro,

L0:Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania,

L0:Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in

L0:the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu,

L0:Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia,

L0:Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic

L0:of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin,

L0:Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros,

L0:Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia,

L0:Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi,

L0:Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe,

L0:Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste,

L0:Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas,

L0:Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada,

L0:Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent

L0:and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0: ?Designated country construction material? means a construction material that is a

L0:WTO GPA country construction material, a Free Trade Agreement country construction

L0:material, a least developed country construction material, or a Caribbean Basin country

L0:construction material.

L0: ?Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of

L0:iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the

L0:United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the

L0:United States exceeds 60 percent of the cost of all its components, except that the

L0:percentage will be 65 percent for items delivered in calendar years 2024 through 2028

L0:and 75 percent for items delivered starting in calendar year 2029, unless an alternate

L0:percentage is established for a contract in accordance with FAR 25.201(c). Components

L0:of foreign origin of the same class or kind for which nonavailability determinations have

L0:been made are treated as domestic. Components of unknown origin are treated as

L0:foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or

L0:steel or a combination of both, a construction material manufactured in the United

L0:States if the cost of iron and steel not produced in the United States (excluding

L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of

L0:the cost of all the components used in such construction material (produced in the

L0:United States means that all manufacturing processes of the iron or steel must take

L0:place in the United States, except metallurgical processes involving refinement of steel

L0:additives). The cost of iron and steel not produced in the United States includes but is

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate,

L0:or sheet), castings, or forgings, not produced in the United States, utilized in the

L0:manufacture of the construction material and a good faith estimate of the cost of all iron

L0:or steel components not produced in the United States, excluding COTS fasteners. Iron

L0:or steel components of unknown origin are treated as foreign. If the construction

L0:material contains multiple components, the cost of all the materials used in such

L0:construction material is calculated in accordance with the definition of "cost of

L0:components" in this clause.

L0:"Free Trade Agreement country construction material" means a construction

L0:material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement

L0:country; or

L1:(2) In the case of a construction material that consists in whole or in part of

L0:materials from another country, has been substantially transformed in a Free Trade

L0:Agreement country into a new and different construction material distinct from the

L0:material from which it was transformed.

L0:"Least developed country construction material" means a construction material

L0:that?

L0:or

L1:(1) Is wholly the growth, product, or manufacture of a least developed country;

L1:(2) In the case of a construction material that consists in whole or in part of

L0:materials from another country, has been substantially transformed in a least

L0:developed country into a new and different construction material distinct from the

L0:materials from which it was transformed.

L0:"Predominantly of iron or steel or a combination of both" means that the cost of the

L0:iron and steel content exceeds 50 percent of the total cost of all its components. The cost

L0:of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab,

L0:wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product

L0:and a good faith estimate of the cost of iron or steel components excluding COTS

L0:fasteners.

L0:"Steel" means an alloy that includes at least 50 percent iron, between 0.02 and 2

L0:percent carbon, and may include other elements.

L0:"United States" means the 50 States, the District of Columbia, and outlying areas.

L0:"WTO GPA country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or
L1:(2) In the case of a construction material that consists in whole or in part of
L0:materials from another country, has been substantially transformed in a WTO GPA
L0:country into a new and different construction material distinct from the materials from
L0:which it was transformed.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(b) This clause implements the Balance of Payments Program by providing a
L0:preference for domestic construction material. In addition, the Contracting Officer has
L0:determined that the WTO GPA and all Free Trade Agreements except United States-
L0:Mexico-Canada Agreement and the Bahrain Free Trade Agreement apply to this
L0:acquisition. Therefore, the Balance of Payments Program restrictions are waived for
L0:designated country construction material other than Bahraini or Mexican construction
L0:material.

L1:(c) The Contractor shall use only domestic or designated country construction
L0:material other than Bahraini or Mexican construction material in performing this
L0:contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition
L0:threshold in part 2 of the Federal Acquisition Regulation; or

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as
L0:follows:

L0: _____

L0:[Contracting Officer to list applicable excepted materials or indicate "none?"].

L0:(End of clause)

L0:Alternate II. [Reserved]

L0:Alternate III. [Reserved]

L0:Alternate IV. As prescribed in 225.7503(b) and (b)(5), use the following clause, which
L0:includes, in the definition of "domestic construction material" at paragraph (1)(ii)(A), the
L0:domestic content threshold that will apply to the entire contract period of performance:

**L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER
L0:TRADE AGREEMENTS?ALTERNATE IV (FEB 2024)**

L1:(a) Definitions. As used in this clause?

L0:"Caribbean Basin country construction material" means a construction material
L0:that?

L0:or

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country;
L1:(2) In the case of a construction material that consists in whole or in part of
L0:materials from another country, has been substantially transformed in a Caribbean
L0:Basin country into a new and different construction material distinct from the materials
L0:from which it was transformed.

L0:"Commercially available off-the-shelf (COTS) item"?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of

L0:commercial product? in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier,

L0:without modification, in the same form in which it is sold in the commercial

L0:marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of

L0:1984 (46 U.S.C. 40102), such as agricultural products and petroleum products.

L0:Component? means any article, material, or supply incorporated directly into

L0:construction material.

L0:Construction material? means an article, material, or supply brought to the

L0:construction site by the Contractor or a subcontractor for incorporation into the building

L0:or work. The term also includes an item brought to the site preassembled from articles,

L0:materials, or supplies. However, emergency life safety systems, such as emergency

L0:lighting, fire alarm, and audio evacuation systems, that are discrete systems

L0:incorporated into a public building or work and that are produced as complete systems,

L0:are evaluated as a single and distinct construction material regardless of when or how

L0:the individual parts or components of those systems are delivered to the construction

L0:site. Materials purchased directly by the Government are supplies, not construction

L0:material.

L0:Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including

L0:transportation costs to the place of incorporation into the end product (whether or not

L0:such costs are paid to a domestic firm), and any applicable duty (whether or not a duty-

L0:free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with

L0:the manufacture of the component, including transportation costs as described in

L0:paragraph (1) of this definition, plus allocable overhead costs, but excluding profit. Cost

L0:of components does not include any costs associated with the manufacture of the

L0:construction material.

L0:Critical component? means a component that is mined, produced, or manufactured

L0:in the United States and deemed critical to the U.S. supply chain. The list of critical

L0:components is at FAR 25.105.

L0:Critical item? means domestic construction material or a domestic end product that

L0:is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0:Designated country? means?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(1) A World Trade Organization Government Procurement Agreement (WTO

L0:GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada,

L0:Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of),

L0:Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro,

L0:Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania,

L0:Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in L0:the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, L0:Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, L0:Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic L0:of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, L0:Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, L0:Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia, L0:Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, L0:Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, L0:Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, L0:Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, L0:Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, L0:Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent L0:and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0: ?Designated country construction material? means a construction material that is a L0:WTO GPA country construction material, a Free Trade Agreement country construction L0:material, a least developed country construction material, or a Caribbean Basin country L0:construction material.

L0: ?Domestic construction material? means?.

L1:(1) For construction material that does not consist wholly or predominantly of L0:iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the L0:United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the L0:United States exceeds, for the entire period of performance for a contract awarded in: L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 L0:through 2028, 65 percent of the cost of all its components; or calendar year 2029 or L0:later, 75 percent of the cost of all its components. Components of foreign origin of the L0:same class or kind for which nonavailability determinations have been made are L0:treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) For construction material that consists wholly or predominantly of iron or L0:steel or a combination of both, a construction material manufactured in the United L0:States if the cost of iron and steel not produced in the United States (excluding L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of L0:the cost of all the components used in such construction material (produced in the L0:United States means that all manufacturing processes of the iron or steel must take L0:place in the United States, except metallurgical processes involving refinement of steel L0:additives). The cost of iron and steel not produced in the United States includes but is

L0: not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, L0: or sheet), castings, or forgings, not produced in the United States, utilized in the L0: manufacture of the construction material and a good faith estimate of the cost of all iron L0: or steel components not produced in the United States, excluding COTS fasteners. Iron L0: or steel components of unknown origin are treated as foreign. If the construction L0: material contains multiple components, the cost of all the materials used in such L0: construction material is calculated in accordance with the definition of "cost of L0: components" in this clause.

L0: "Free Trade Agreement country construction material" means a construction L0: material that?

L1: (1) Is wholly the growth, product, or manufacture of a Free Trade Agreement L0: country; or

L1: (2) In the case of a construction material that consists in whole or in part of L0: materials from another country, has been substantially transformed in a Free Trade L0: Agreement country into a new and different construction material distinct from the L0: material from which it was transformed.

L0: "Least developed country construction material" means a construction material L0: that?

L0: or

L1: (1) Is wholly the growth, product, or manufacture of a least developed country;

L1: (2) In the case of a construction material that consists in whole or in part of L0: materials from another country has been substantially transformed in a least developed L0: country into a new and different construction material distinct from the materials from L0: which it was transformed.

L0: "Predominantly of iron or steel or a combination of both" means that the cost of the L0: iron and steel content exceeds 50 percent of the total cost of all its components. The cost L0: of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab, L0: wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product L0: and a good faith estimate of the cost of iron or steel components excluding COTS L0: fasteners.

L0: "Steel" means an alloy that includes at least 50 percent iron, between 0.02 and 2 L0: percent carbon, and may include other elements.

L0: "United States" means the 50 States, the District of Columbia, and outlying areas.

L0: Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0: Defense FAR Supplement (DFARS) Part 225

L0: "WTO GPA country construction material" means a construction material that?

L1: (1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1: (2) In the case of a construction material that consists in whole or in part of L0: materials from another country, has been substantially transformed in a WTO GPA L0: country into a new and different construction material distinct from the materials from L0: which it was transformed.

L1: (b) This clause implements the Balance of Payments Program by providing a L0: preference for domestic construction material. In addition, the Contracting Officer has L0: determined that the WTO GPA and Free Trade Agreements apply to this acquisition. L0: Therefore, the Balance of Payments Program restrictions are waived for designated

L0:country construction materials.

L1:(c) The Contractor shall use only domestic or designated country construction

L0:material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition

L0:threshold in FAR part 2;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as

L0:follows:

L0:[Contracting Officer to list applicable excepted materials or indicate "none"].

L0:(End of clause)

L0:Alternate V. As prescribed in 225.7503(b) and (b)(6), use the following clause, which

L0:includes, in the definition of "domestic construction material" at paragraph (1)(ii)(A), the

L0:domestic content threshold that will apply to the entire contract period of performance;

L0:adds "Bahraini or Mexican construction material" to paragraph (a); and uses different

L0:paragraphs (b) and (c) than the basic clause:

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER

L0:TRADE AGREEMENTS?ALTERNATE V (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:"Bahraini or Mexican construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain or Mexico; or

L1:(2) In the case of a construction material that consists in whole or in part of

L0:materials from another country, has been substantially transformed in Bahrain or

L0:Mexico into a new and different construction material distinct from the materials from

L0:which it was transformed.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:"Caribbean Basin country construction material" means a construction material

L0:that?

L0:or

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country;

L1:(2) In the case of a construction material that consists in whole or in part of

L0:materials from another country, has been substantially transformed in a Caribbean

L0:Basin country into a new and different construction material distinct from the materials

L0:from which it was transformed.

L0:"Commercially available off-the-shelf (COTS) item"?

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of

L0:"commercial product" in section 2.101 of the Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier,

L0:without modification, in the same form in which it is sold in the commercial

L0:marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of

L0:1984 (46 U.S.C. 40102), such as agricultural products and petroleum products.

L0: ?Component? means any article, material, or supply incorporated directly into L0: construction material.

L0: ?Construction material? means an article, material, or supply brought to the L0: construction site by the Contractor or a subcontractor for incorporation into the building L0: or work. The term also includes an item brought to the site preassembled from articles, L0: materials, or supplies. However, emergency life safety systems, such as emergency L0: lighting, fire alarm, and audio evacuation systems, that are discrete systems L0: incorporated into a public building or work and that are produced as complete systems, L0: are evaluated as a single and distinct construction material regardless of when or how L0: the individual parts or components of those systems are delivered to the construction L0: site. Materials purchased directly by the Government are supplies, not construction L0: material.

L0: ?Cost of components? means?

L1: (1) For components purchased by the Contractor, the acquisition cost, including L0: transportation costs to the place of incorporation into the end product (whether or not L0: such costs are paid to a domestic firm), and any applicable duty (whether or not a duty- L0: free entry certificate is issued); or

L1: (2) For components manufactured by the Contractor, all costs associated with L0: the manufacture of the component, including transportation costs as described in L0: paragraph (1) of this definition, plus allocable overhead costs, but excluding profit. Cost L0: Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25 L0: Defense FAR Supplement (DFARS) Part 225

L0: of components does not include any costs associated with the manufacture of the L0: construction material.

L0: ?Critical component? means a component that is mined, produced, or manufactured L0: in the United States and deemed critical to the U.S. supply chain. The list of critical L0: components is at FAR 25.105.

L0: ?Critical item? means domestic construction material or a domestic end product that L0: is deemed critical to the U.S. supply chain. The list of critical items is at FAR 25.105.

L0: ?Designated country? means?

L1: (1) A World Trade Organization Government Procurement Agreement (WTO L0: GPA) country (Armenia, Aruba, Australia, Austria, Belgium, Bulgaria, Canada, L0: Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, L0: Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), L0: Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Moldova, Montenegro, L0: Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal, Romania, L0: Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in L0: the World Trade Organization as ?the Separate Customs Territory of Taiwan, Penghu, L0: Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L1: (2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, L0: Costa Rica, Dominican Republic, El Salvador, Guatemala, Honduras, Korea (Republic L0: of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1: (3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, L0: Bhutan, Burkina Faso, Burundi, Cambodia, Central African Republic, Chad, Comoros, L0: Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, Gambia,

L0:Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, L0:Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, L0:Senegal, Sierra Leone, Solomon Islands, Somalia, South Sudan, Tanzania, Timor-Leste, L0:Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, L0:Barbados, Belize, Bonaire, British Virgin Islands, Curacao, Dominica, Grenada, L0:Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent L0:and the Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:Designated country construction material? means a construction material that is a L0:WTO GPA country construction material, a Free Trade Agreement country construction L0:material, a least developed country construction material, or a Caribbean Basin country L0:construction material.

L0:Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of L0:iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the L0:United States; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25 L0:Defense FAR Supplement (DFARS) Part 225

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the L0:United States exceeds, for the entire period of performance for a contract awarded in: L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 L0:through 2028, 65 percent of the cost of all its components; or calendar year 2029 or L0:later, 75 percent of the cost of all its components. Components of foreign origin of the L0:same class or kind for which nonavailability determinations have been made are L0:treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or L0:steel or a combination of both, a construction material manufactured in the United L0:States if the cost of iron and steel not produced in the United States (excluding L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of L0:the cost of all the components used in such construction material (produced in the L0:United States means that all manufacturing processes of the iron or steel must take L0:place in the United States, except metallurgical processes involving refinement of steel L0:additives). The cost of iron and steel not produced in the United States includes but is L0:not limited to the cost of iron or steel mill products (such as bar, billet, slab, wire, plate, L0:or sheet), castings, or forgings, not produced in the United States, utilized in the L0:manufacture of the construction material and a good faith estimate of the cost of all iron L0:or steel components not produced in the United States, excluding COTS fasteners. Iron L0:or steel components of unknown origin are treated as foreign. If the construction L0:material contains multiple components, the cost of all the materials used in such L0:construction material is calculated in accordance with the definition of ?cost of L0:components? in this clause.

L0:Free Trade Agreement country construction material? means a construction

L0:material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement

L0:country; or

L1:(2) In the case of a construction material that consists in whole or in part of

L0:materials from another country, has been substantially transformed in a Free Trade

L0:Agreement country into a new and different construction material distinct from the

L0:material from which it was transformed.

L0:?Least developed country construction material? means a construction material

L0:that?

L0:or

L1:(1) Is wholly the growth, product, or manufacture of a least developed country;

L1:(2) In the case of a construction material that consists in whole or in part of

L0:materials from another country has been substantially transformed in a least developed

L0:country into a new and different construction material distinct from the materials from

L0:which it was transformed.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the

L0:iron and steel content exceeds 50 percent of the total cost of all its components. The cost

L0:of iron and steel is the cost of the iron or steel mill products (such as bar, billet, slab,

L0:wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product

L0:and a good faith estimate of the cost of iron or steel components excluding COTS

L0:fasteners.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2

L0:percent carbon, and may include other elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L0:?WTO GPA country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of a construction material that consists in whole or in part of

L0:materials from another country, has been substantially transformed in a WTO GPA

L0:country into a new and different construction material distinct from the materials from

L0:which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a

L0:preference for domestic construction material. In addition, the Contracting Officer has

L0:determined that the WTO GPA and all Free Trade Agreements except United States-

L0:Mexico-Canada Agreement and the Bahrain Free Trade Agreement apply to this

L0:acquisition. Therefore, the Balance of Payments Program restrictions are waived for

L0:designated country construction material other than Bahraini or Mexican construction

L0:material.

L1:(c) The Contractor shall use only domestic or designated country construction

L0:material other than Bahraini or Mexican construction material in performing this

L0:contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition

L0:threshold in FAR part 2; or

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as

L0:follows:

L0:[Contracting Officer to list applicable excepted materials or indicate ?none?].

L0:Alternate VI. [Reserved]

L0:Alternate VII. [Reserved]

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

252.225-7046 Exports by Approved Community Members in Response to the

Status: active

L0:252.225-7046 Exports by Approved Community Members in Response to the

L0:Solicitation.

L0:As prescribed in 225.7902-5(a), use the following provision:

L0:EXPORTS BY APPROVED COMMUNITY MEMBERS IN RESPONSE TO THE

L0:SOLICITATION (JUNE 2013)

L1:(a) Definitions. The definitions of ?Approved Community?, ?defense articles?,

L0:Defense Trade Cooperation (DTC) Treaty?, ?export?, ?Implementing Arrangement?,

L0:?qualifying defense articles?, ?transfer?, and ?U.S. DoD Treaty-eligible requirements?

L0:DFARS clause 252.225-7047 apply to this provision.

L1:(b) All contract line items in the contemplated contract, except any identified in this

L0:paragraph, are intended to satisfy U.S. DoD Treaty-eligible requirements. Specific

L0:defense articles that are not U.S. DoD Treaty-eligible will be identified as such in those

L0:contract line items that are otherwise U.S. DoD Treaty-eligible.

L0:CONTRACT LINE ITEMS NOT INTENDED TO SATISFY

L0:U.S. DoD TREATY-ELIGIBLE REQUIREMENTS:

L0:_____

L0:[Enter Contract Line Item Number(s) or enter ?None?]

L1:(c) Approved Community members responding to the solicitation may only export or

L0:transfer defense articles that specifically respond to the stated requirements of the

L0:solicitation.

L1:(d) Subject to the other terms and conditions of the solicitation and the

L0:contemplated contract that affect the acceptability of foreign sources or foreign end

L0:products, components, parts, or materials, Approved Community members are

L0:permitted, but not required, to use the DTC Treaties for exports or transfers of

L0:qualifying defense articles in preparing a response to this solicitation.

L1:(e) Any conduct by an offeror responding to this solicitation that falls outside the

L0:scope of the DTC Treaties, the Implementing Arrangements, and the implementing

L0:regulations of the Department of State in 22 CFR 126.16 (Australia), 22 C.F.R. 126.17

L0:(United Kingdom), and 22 C.F.R. 126 Supplement No. 1 (exempted technologies list) is

L0:subject to all applicable International Traffic in Arms Regulations (ITAR) requirements,

L0:including any criminal, civil, and administrative penalties or sanctions, as well as all

L0:other United States statutory and regulatory requirements outside of ITAR.

L1:(f) If the offeror uses the procedures established pursuant to the DTC Treaties, the
L0:offeror agrees that, with regard to the export or transfer of a qualifying defense article
L0:associated with responding to the solicitation, the offeror shall?

L1:(1) Comply with the requirements and provisions of the applicable DTC
L0:Treaties, the Implementing Arrangements, and corresponding regulations (including
L0:the ITAR) of the U.S. Government and the government of Australia or of the United
L0:Kingdom, as applicable;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) Prior to the export or transfer of a qualifying defense article?

L1:(i) Mark, identify, transmit, store, and handle any defense articles provided
L0:for the purpose of responding to such solicitations, as well as any defense articles
L0:provided with or developed pursuant to their responses to such solicitations, in
L0:accordance with the DTC Treaties, the Implementing Arrangements, and corresponding
L0:regulations of the United States Government and the government of Australia or the
L0:government of the United Kingdom, as applicable, including, but not limited to, the
L0:marking and classification requirements described in the applicable regulations;

L1:(ii) Comply with the re-transfer or re-export provisions of the DTC Treaties,
L0:the Implementing Arrangements, and corresponding regulations of the United States
L0:Government and the government of Australia or the government of the United
L0:Kingdom, as applicable, including, but not limited to, the re-transfer and re-export
L0:requirements described in the applicable regulations; and

L1:(iii) Acknowledge that any conduct that falls outside or in violation of the
L0:DTC Treaties, Implementing Arrangements, and implementing regulations of the
L0:applicable government including, but not limited to, unauthorized re-transfer or re-
L0:export in violation of the procedures established in the applicable Implementing
L0:Arrangement and implementing regulations, remains subject to applicable licensing
L0:requirements of the government of Australia, the government of the United Kingdom,
L0:and the United States Government, as applicable, including any criminal, civil, and
L0:administrative penalties or sanctions contained therein; and

L1:(g) Representation. The offeror shall check one of the following boxes and sign the
L0:representation:

L0: ? The offeror represents that export(s) or transfer(s) of qualifying defense articles were
L0:made in preparing its response to this solicitation and that such export(s) or transfer(s)
L0:complied with the requirements of this provision.

L0: _____

L0:Name/Title of Duly Authorized Representative Date

L0: ? The offeror represents that no export(s) or transfer(s) of qualifying defense articles
L0:were made in preparing its response to this solicitation.

L0: _____

L0:Name/Title of Duly Authorized Representative Date

L1:(h) Subcontracts. Flow down the substance of this provision, including this
L0:paragraph (h), but excluding the representation at paragraph (g), to any subcontractor
L0:at any tier intending to use the DTC Treaties in responding to this solicitation.

L0:(End of provision)

252.225-7047 Exports by Approved Community Members in Performance of

Status: active

L0:252.225-7047 Exports by Approved Community Members in Performance of
L0:the Contract.

L0:As prescribed in 225.7902-5(b), use the following clause:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:EXPORTS BY APPROVED COMMUNITY MEMBERS IN PERFORMANCE OF THE L0:CONTRACT (JUNE 2013)

L1:(a) Definitions. As used in this clause?

L0:?'Approved Community?' means the U.S. Government, U.S. entities that are

L0:registered and eligible exporters, and certain government and industry facilities in

L0:Australia or the United Kingdom that are approved and listed by the U.S. Government.

L0:?'Australia Community member?' means an Australian government authority or

L0:nongovernmental entity or facility on the Australia Community list accessible at

L0:<http://pmddtc.state.gov/treaties/index.html> .

L0:?'Defense articles?' means articles, services, and related technical data, including

L0:software, in tangible or intangible form, listed on the United States Munitions List of

L0:the International Traffic in Arms Regulations (ITAR), as modified or amended.

L0:?'Defense Trade Cooperation (DTC) Treaty?' means?

L1:(1) The Treaty Between the Government of the United States of America and the

L0:government of the United Kingdom of Great Britain and Northern Ireland concerning

L0:Defense Trade Cooperation, signed at Washington and London on June 21 and 26,

L0:2007; or

L1:(2) The Treaty Between the Government of the United States of America and the

L0:Government of Australia Concerning Defense Trade Cooperation, signed at Sydney on

L0:September 5, 2007.

L0:?'Export?' means the initial movement of defense articles from the United States

L0:Community to the United Kingdom Community and the Australia community.

L0:?'Implementing Arrangement?' means-

L1:(1) The Implementing Arrangement Pursuant to the Treaty between the

L0:Government of the United States of America and the Government of the United

L0:Kingdom of Great Britain and Northern Ireland Concerning Defense Trade

L0:Cooperation, signed on February 14, 2008; or

L1:(2) The Implementing Arrangement Pursuant to the Treaty between the

L0:Government of the United States of America and the Government of Australia

L0:Concerning Defense Trade Cooperation, signed on March 14, 2008.

L0:?'Qualifying defense articles?' means defense articles that are not exempt from the

L0:scope of the DTC Treaties as defined in 22 CFR 126.16(g) and 22 CFR 126.17(g).

L0:?'Transfer?' means the movement of previously exported defense articles within the

L0:Approved Community.

L0:United Kingdom Community member? means a United Kingdom government

L0:authority or nongovernmental entity or facility on the United Kingdom Community list

L0:accessible at <http://pmddtc.state.gov>.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:United States Community? means?

L1:(1) Departments and agencies of the U.S. Government, including their

L0:personnel, with, as appropriate, security accreditation and a need-to-know; and

L1:(2) Nongovernmental U.S. entities registered with the Department of State and

L0:eligible to export defense articles under U.S. law and regulation, including their

L0:employees, with, as appropriate, security accreditation and a need-to-know.

L0:U.S. DoD Treaty-eligible requirements? means any defense article acquired by the

L0:DoD for use in a combined military or counterterrorism operation, cooperative research,

L0:development, production or support program, or DoD end use, as described in Article 3

L0:of the U.S.-U.K. DTC Treaty and sections 2 and 3 of the associated Implementing

L0:Arrangement; and Article 3 of the U.S.-Australia DTC Treaty and sections 2 and 3 of

L0:the associated Implementing Arrangement.

L1:(b) All contract line items in this contract, except any identified in this paragraph,

L0:are intended to satisfy U.S. DoD Treaty-eligible requirements. Specific defense articles

L0:that are not U.S. DoD Treaty-eligible will be identified as such in those contract line

L0:items that are otherwise U.S. DoD Treaty-eligible.

L0:CONTRACT LINE ITEMS NOT INTENDED TO SATISFY

L0:U.S. DoD TREATY-ELIGIBLE REQUIREMENTS:

L0: _____

L0:[Enter Contract Line Item Number(s) or enter ?None?]

L1:(c) Subject to the other terms and conditions of this contract that affect the

L0:acceptability of foreign sources or foreign end products, components, parts, or materials,

L0:Approved Community members are permitted, but not required, to use the DTC

L0:Treaties for exports or transfers of qualifying defense articles in performance of the

L0:contract.

L1:(d) Any conduct by the Contractor that falls outside the scope of the DTC Treaties,

L0:the Implementing Arrangements, and 22 CFR 126.16(g) and 22 CFR 126.17(g) is

L0:subject to all applicable ITAR requirements, including any criminal, civil, and

L0:administrative penalties or sanctions, as well as all other United States statutory and

L0:regulatory requirements outside of ITAR, including, but not limited to, regulations

L0:issued by the Bureau of Alcohol, Tobacco, Firearms and Explosives found at 27 C.F.R.

L0:Parts 447, 478, and 479, which are unaffected by the DTC Treaties.

L1:(e) If the Contractor is an Approved Community member, the Contractor agrees

L0:that?

L1:(1) The Contractor shall comply with the requirements of the DTC Treaties, the

L0:Implementing Arrangements, the ITAR, and corresponding regulations of the U.S.

L0:Government and the government of Australia or the government of the United

L0:Kingdom, as applicable; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) Prior to the export or transfer of a qualifying defense article the

L0:Contractor?

L1:(i) Shall mark, identify, transmit, store, and handle any defense articles

L0:provided for the purpose of responding to such solicitations, as well as any defense

L0:articles provided with or developed pursuant to their responses to such solicitations, in

L0:accordance with the DTC Treaties, the Implementing Arrangements, and corresponding

L0:regulations of the United States Government and the government of Australia or the

L0:government of the United Kingdom, as applicable, including, but not limited to, the

L0:marking and classification requirements described in the applicable regulations;

L1:(ii) Shall comply with the re-transfer or re-export provisions of the DTC

L0:Treaties, the Implementing Arrangements, and corresponding regulations of the United

L0:States Government and the government of Australia or the government of the United

L0:Kingdom, as applicable, including, but not limited to, the re-transfer and re-export

L0:requirements described in the applicable regulations; and

L1:(iii) Shall acknowledge that any conduct that falls outside or in violation of

L0:the DTC Treaties, Implementing Arrangements, and implementing regulations of the

L0:applicable government including, but not limited to, unauthorized re-transfer or re-

L0:export in violation of the procedures established in the applicable Implementing

L0:Arrangement and implementing regulations, remains subject to applicable licensing

L0:requirements of the government of Australia, the government of the United Kingdom,

L0:and the United States Government, including any criminal, civil, and administrative

L0:penalties or sanctions contained therein.

L1:(f) The contractor shall include the substance of this clause, including this

L0:paragraph (f), in all subcontracts that may require exports or transfers of qualifying

L0:defense articles in connection with deliveries under the contract.

252.225-7048 Export-Controlled Items

Status: active

L0:252.225-7048 Export-Controlled Items.

L0:As prescribed in 225.7901-4, use the following clause:

L0:(End of clause)

L0:EXPORT CONTROLLED ITEMS (JUNE 2013)

L1:(a) Definition. "Export-controlled items," as used in this clause, means items subject

L0:to the Export Administration Regulations (EAR) (15 CFR Parts 730-774) or the

L0:International Traffic in Arms Regulations (ITAR) (22 CFR Parts 120-130). The term

L0:includes:

L1:(1) "Defense items," defined in the Arms Export Control Act, 22 U.S.C.

L0:2778(j)(4)(A), as defense articles, defense services, and related technical data, and

L0:further defined in the ITAR, 22 CFR Part 120.

L1:(2) "Items," defined in the EAR as "commodities," "software," and "technology,"

L0:terms that are also defined in the EAR, 15 CFR 772.1.

L1:(b) The Contractor shall comply with all applicable laws and regulations regarding

L0:export-controlled items, including, but not limited to, the requirement for contractors to

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:register with the Department of State in accordance with the ITAR. The Contractor

L0:shall consult with the Department of State regarding any questions relating to

L0:compliance with the ITAR and shall consult with the Department of Commerce

L0:regarding any questions relating to compliance with the EAR.

L1:(c) The Contractor's responsibility to comply with all applicable laws and

L0:regulations regarding export-controlled items exists independent of, and is not

L0:established or limited by, the information provided by this clause.

L1:(d) Nothing in the terms of this contract adds, changes, supersedes, or waives any of

L0:the requirements of applicable Federal laws, Executive orders, and regulations,

L0:including but not limited to?

L1:(1) The Export Administration Act of 1979, as amended (50 U.S.C. App. 2401, et

L0:seq.);

L0:seq.);

L1:(2) The Arms Export Control Act (22 U.S.C. 2751, et seq.);

L1:(3) The International Emergency Economic Powers Act (50 U.S.C. 1701, et

L1:(4) The Export Administration Regulations (15 CFR Parts 730-774);

L1:(5) The International Traffic in Arms Regulations (22 CFR Parts 120-130); and

L1:(6) Executive Order 13222, as extended.

L1:(e) The Contractor shall include the substance of this clause, including this

L0:paragraph (e), in all subcontracts.

L0:(End of clause)

252.225-7049 [Reserved]

Status: active

L0:252.225-7049 [Reserved]

252.225-7050 [Reserved]

Status: active

L0:252.225-7050 [Reserved]

252.225-7051 [Reserved]

Status: active

L0:252.225-7051 [Reserved]

252.225-7052 Restriction on the Acquisition of Certain Magnets, Tantalum,

Status: active

L0:252.225-7052 Restriction on the Acquisition of Certain Magnets, Tantalum,
L0:and Tungsten.

L0:As prescribed in 25.7018-5, use the following clause:

**L0:RESTRICTION ON THE ACQUISITION OF CERTAIN MAGNETS, TANTALUM,
L0:AND TUNGSTEN (MAY 2024)**

L1:(a) Definitions. As used in this clause?

L0:Assembly? means an item forming a portion of a system or subsystem that?

L1:(1) Can be provisioned and replaced as an entity; and

L1:(2) Incorporates multiple, replaceable parts.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Commercially available off-the-shelf item??

L1:(1) Means any item of supply that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of

L0:commercial product? in section 2.101 of the Federal Acquisition Regulation);

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under this contract or a subcontract at

L0:any tier, without modification, in the same form in which it is sold in the

L0:commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as

L0:agricultural products and petroleum products.

L0:Component? means any item supplied to the Government as part of an end item

L0:or of another component.

L0:Covered country? means?

L1:(1) The Democratic People's Republic of North Korea;

L1:(2) The People's Republic of China;

L1:(3) The Russian Federation; or

L1:(4) The Islamic Republic of Iran.

L0:Covered material? means?

L1:(1) Samarium-cobalt magnets;

L1:(2) Neodymium-iron-boron magnets;

L1:(3) Tantalum metals and alloys;

L1:(4) Tungsten metal powder; and

L1:(5) Tungsten heavy alloy or any finished or semi-finished component

L0:containing tungsten heavy alloy.

L0:Electronic device? means an item that operates by controlling the flow of

L0:electrons or other electrically charged particles in circuits, using interconnections

L0:such as resistors, inductors, capacitors, diodes, switches, transistors, or integrated

L0:circuits.

L0:End item? means the final production product when assembled or completed

L0:and ready for delivery under a line item of this contract.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Subsystem? means a functional grouping of items that combine to perform a

L0:major function within an end item, such as electrical power, attitude control, and
L0:propulsion.

L0: Tungsten heavy alloy? means a tungsten base pseudo alloy that?

L1:(1) Meets the specifications of ASTM B777 or SAE-AMS-T-21014 for a

L0:particular class of tungsten heavy alloy; or

L1:(2) Contains at least 90 percent tungsten in a matrix of other metals (such

L0:as nickel-iron or nickel-copper) and has density of at least 16.5 g/cm3).

L1:(b) Restriction.

L1:(1) Except as provided in paragraph (c) of this clause?

L1:(i) Effective through December 31, 2026, the Contractor shall not deliver

L0:under this contract any covered material melted or produced in any covered

L0:country, or any end item, manufactured in any covered country, that contains a

L0:covered material; and

L1:(ii) Effective January 1, 2027, the Contractor shall not deliver under this

L0:contract any covered material mined, refined, separated, melted, or produced in any

L0:covered country, or any end item, manufactured in any covered country, that

L0:contains a covered material (section 854, Pub. L. 118-31; 10 U.S.C. 4872).

L3:(2)(i)(A) Effective through December 31, 2026, for samarium-cobalt magnets

L0:and neodymium-iron-boron magnets, this restriction includes?

L1:(1) Melting samarium with cobalt to produce the samarium-

L0:cobalt alloy or melting neodymium with iron and boron to produce the neodymium-

L0:iron-boron alloy; and

L0:powder formation, pressing, sintering or bonding, and magnetization.

L1:(2) All subsequent phases of production of the magnets, such as

L1:(B) Effective January 1, 2027, for samarium-cobalt magnets this

L0:restriction includes the entire supply chain from mining or production of a cobalt

L0:and samarium ore or feedstock, including recycled material, through production of

L0:finished magnets.

L1:(ii) The restriction on melting and producing of samarium-cobalt

L0:magnets is in addition to any applicable restrictions on melting of specialty metals

L0:if the clause at 252.225-7009, Restriction on Acquisition of Certain Articles

L0:Containing Specialty Metals, is included in the contract.

L1:(3) Effective January 1, 2027, for neodymium-iron-boron magnets, this

L0:restriction includes the entire supply chain from mining of neodymium, iron, and

L0:boron through production of finished magnets.

L2:(4)(i) Effective through December 31, 2026, for production of tantalum

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:metals of any kind and alloys, this restriction includes the reduction or melting of

L0:any form of tantalum to create tantalum metal including unwrought, powder, mill

L0:products, and alloys. The restriction also covers all subsequent phases of

L0:production of tantalum metals and alloys.

L1:(ii) Effective January 1, 2027, for production of tantalum metals of any

L0:kind and alloys, this restriction includes mining or production of a tantalum ore or

L0:feedstock, including recycled material, through production of metals of any kind and

L0:alloys.

L2:(5)(i) Effective through December 31, 2026, for production of tungsten metal

L0:powder and tungsten heavy alloy, this restriction includes-

L1:(A) Atomization;

L1:(B) Calcination and reduction into powder;

L1:(C) Final consolidation of non-melt derived metal powders; and

L1:(D) All subsequent phases of production of tungsten metal powder,

L0:tungsten heavy alloy, or any finished or semi-finished component containing

L0:tungsten heavy alloy.

L1:(ii) Effective January 1, 2027, for production of tungsten metal powder,

L0:tungsten heavy alloy, or any finished or semi-finished component containing

L0:tungsten heavy alloy, this restriction includes mining or production of a tungsten

L0:ore or feedstock, including recycled material, through production of tungsten metal

L0:powders, tungsten heavy alloy, or any finished or semi-finished component

L0:containing tungsten heavy alloy.

L1:(c) Exceptions. This clause does not apply?

L1:(1) To an end item containing a covered material that is?

L1:(i) A commercially available off-the-shelf item, other than?

L1:(A) A commercially available off-the-shelf item that is?

L0:December 31, 2026; or

L1:(1) 50 percent or more tungsten by weight effective through

L0:January 1, 2027;

L1:(2) 50 percent or more covered material by weight effective

L1:(B) Effective through December 31, 2026, a tantalum metal,

L0:tantalum alloy, or tungsten heavy alloy mill product, such as bar, billet, slab, wire,

L0:cube, sphere, block, blank, plate, or sheet, that has not been incorporated into an

L0:end item, subsystem, assembly, or component;

L1:(ii) Effective January 1, 2027, a covered material that is a mill product,

L0:such as bar, billet, slab, wire, cube, sphere, block, blank, plate, or sheet, that has

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:not been incorporated into an end item, subsystem, assembly, or component;

L1:(iii) An electronic device, unless otherwise specified in the contract; or

L1:(iv) A neodymium-iron-boron magnet manufactured from recycled

L0:material if the milling of the recycled material and sintering of the final magnet

L0:takes place in the United States.

L1:(2) If the authorized agency official concerned has made a nonavailability

L0:determination, in accordance with section 225.7018-4 of the Defense Federal

L0:Acquisition Regulation Supplement, that compliant covered materials of

L0:satisfactory quality and quantity, in the required form, cannot be procured as and

L0:when needed at a reasonable price.

L1:(i) For tantalum metal, tantalum alloy, or tungsten heavy alloy, the

L0:term "required form" refers to the form of the mill product, such as bar, billet, wire,

L0:slab, plate, or sheet, in the grade appropriate for the production of a finished end

L0:item to be delivered to the Government under this contract; or a finished component

L0:assembled into an end item to be delivered to the Government under the contract.

L1:(ii) For samarium-cobalt magnets or neodymium-iron-boron magnets,

L0:the term "required form" refers to the form and properties of the magnets.

L1:(d) Subcontracts. The Contractor shall insert the substance of this clause,

L0:including this paragraph (d), in subcontracts and other contractual instruments

L0:that are for items containing a covered material, including subcontracts and other

L0:contractual instruments for commercial products, unless an exception in paragraph

L1:(c) of this clause applies. The Contractor shall not alter this clause other than to

L0:identify the appropriate parties.

L0:(End of clause)

252.225-7053 Representation Regarding Prohibition on Use of Certain Energy

Status: active

L0:252.225-7053 Representation Regarding Prohibition on Use of Certain Energy

L0:Sourced from Inside the Russian Federation.

L0:As prescribed in 225.7019-4(a), use the following provision:

L0:REPRESENTATION REGARDING PROHIBITION ON USE OF CERTAIN ENERGY

L0:SOURCED FROM INSIDE THE RUSSIAN FEDERATION (AUG 2021)

L1:(a) Definitions. As used in this provision?

L0:"Covered military installation" means a military installation in Europe

L0:identified by DoD as a main operating base.

L0:"Furnished energy" means energy furnished to a covered military installation in any

L0:form and for any purpose, including heating, cooling, and electricity.

L0:"Main operating base" means a facility outside the United States and its

L0:territories with permanently stationed operating forces and robust infrastructure.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(b) Prohibition. In accordance with section 2821 of the National Defense

L0:Authorization Act for Fiscal Year 2020 (Pub. L. 116-92), contracts for the acquisition of

L0:furnished energy for a covered military installation shall not use any energy sourced

L0:from inside the Russian Federation as a means of generating the furnished energy for

L0:the covered military installation, unless a waiver is approved. The prohibition?

L1:(1) Applies to all forms of energy that are furnished to a covered military

L0:installation; and

L1:(2) Does not apply to energy converted by a third party into another form of

L0:energy and not directly delivered to a covered military installation.

L1:(c) Representation. By submission of its offer, the Offeror represents that the

L0:Offeror will not use or provide any energy sourced from inside the Russian Federation

L0:as a means of generating the furnished energy for the covered military installation in

L0:the performance of any contract, subcontract, or other contractual instrument resulting

L0:from this solicitation.

L0:(End of provision)

252.225-7054 Prohibition on Use of Certain Energy Sourced from Inside the

Status: active

L0:252.225-7054 Prohibition on Use of Certain Energy Sourced from Inside the
L0:Russian Federation.

L0:As prescribed in 225.7019-4(b), use the following clause:

L0:PROHIBITION ON USE OF CERTAIN ENERGY SOURCED FROM INSIDE

L0:THE RUSSIAN FEDERATION (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Covered military installation? means a military installation in Europe identified by
L0:DoD as a main operating base.

L0:Furnished energy? means energy furnished to a covered military installation in any
L0:form and for any purpose, including heating, cooling, and electricity.

L0:Main operating base? means a facility outside the United States and its territories
L0:with permanently stationed operating forces and robust infrastructure.

L1:(b) Prohibition. In accordance with section 2821 of the National Defense

L0:Authorization Act for Fiscal Year 2020 (Pub. L. 116-92), the Contractor shall not use in
L0:the performance of this contract any energy sourced from inside the Russian Federation
L0:as a means of generating the furnished energy for the covered military installation
L0:unless a waiver is approved. The prohibition?

L1:(1) Applies to all forms of energy that are furnished to a covered military
L0:installation; and

L1:(2) Does not apply to energy converted by a third party into another form of
L0:energy and not directly delivered to a covered military installation.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

L1:(c) Subcontracts. The Contractor shall insert the substance of this clause, including
L0:this paragraph (c), in subcontracts and other commercial instruments that are for
L0:furnished energy at a covered military installation, including subcontracts and
L0:commercial instruments for commercial products.

L0:(End of clause)

252.225-7055 Representation Regarding Business Operations with the

Status: active

L0:252.225-7055 Representation Regarding Business Operations with the
L0:Maduro Regime.

L0:As prescribed in 225.7020-5(a), use the following provision:

L0:REPRESENTATION REGARDING BUSINESS OPERATIONS WITH THE MADURO

L0:REGIME (MAY 2022)

L1:(a) Definitions. As used in this provision?

L0:Agency or instrumentality of the government of Venezuela,? ?business
L0:operations,? ?government of Venezuela,? and ?person? have the meaning given in
L0:the clause 252.225-7056, Prohibition Regarding Business Operations with the

L0:Maduro Regime, of this solicitation.

L1:(b) Prohibition. In accordance with section 890 of the National Defense

L0:Authorization Act for Fiscal Year 2020 (Pub. L. 116-92), DoD is prohibited from

L0:entering into a contract for the procurement of products or services with any person

L0:that has business operations with an authority of the government of Venezuela that

L0:is not recognized as the legitimate government of Venezuela by the U.S.

L0:Government, unless the person has a valid license to operate in Venezuela issued by

L0:the Office of Foreign Assets Control of the Department of the Treasury.

L1:(c) Representation. By submission of its offer, the Offeror represents that the

L0:Offeror is a person that?

L1:(1) Does not have any business operations with an authority of the Maduro

L0:regime or the government of Venezuela that is not recognized as the legitimate

L0:government of Venezuela by the U.S. Government; or

L1:(2) Has a valid license to operate in Venezuela issued by the Office of Foreign

L0:Assets Control of the Department of the Treasury.

L0:(End of provision)

252.225-7056 Prohibition Regarding Business Operations with the Maduro

Status: active

L0:252.225-7056 Prohibition Regarding Business Operations with the Maduro

L0:Regime.

L0:As prescribed in 225.7020-5(b), use the following clause:

L0:PROHIBITION REGARDING BUSINESS OPERATIONS WITH THE MADURO

L0:REGIME (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:?Agency or instrumentality of the government of Venezuela? means an agency or

L0:instrumentality of a foreign state as defined in 28 U.S.C. 1603(b), with each

L0:reference in section 1603(b) to a foreign state deemed to be a reference to

L0:Venezuela.

L0:?Business operations? means engaging in commerce in any form, including

L0:acquiring, developing, maintaining, owning, selling, possessing, leasing, or

L0:operating equipment, facilities, personnel, products, services, personal property,

L0:real property, or any other apparatus of business or commerce.

L0:?Government of Venezuela? means the government of any political subdivision of

L0:Venezuela, and any agency or instrumentality of the government of Venezuela.

L0:?Person? means?

L1:(1) A natural person, corporation, company, business association,

L0:partnership, society, trust, or any other nongovernmental entity, organization, or

L0:group;

L1:(2) Any governmental entity or instrumentality of a government, including a

L0:multilateral development institution (as defined in section 1701(c)(3) of the

L0:International Financial Institutions Act (22 U.S.C. 262r(c)(3)); and
L1:(3) Any successor, subunit, parent entity, or subsidiary of, or any entity
L0:under common ownership or control with, any entity described in paragraph (1) or
L1:(2) of this definition.
L1:(b) Prohibition. In accordance with section 890 of the National Defense
L0:Authorization Act for Fiscal Year 2020 (Pub. L. 116-92), DoD is prohibited from
L0:entering into a contract for the procurement of products or services with any person
L0:that has business operations with an authority of the government of Venezuela that
L0:is not recognized as the legitimate government of Venezuela by the U.S.
L0:Government, unless the person has a valid license to operate in Venezuela issued by
L0:the Office of Foreign Assets Control of the Department of the Treasury.
L1:(c) The Contractor shall?
L1:(1) Not have any business operations with an authority of the Maduro regime or
L0:the government of Venezuela that is not recognized as the legitimate government of
L0:Venezuela by the U.S. Government; or
L1:(2) Have a valid license to operate in Venezuela issued by the Office of Foreign
L0:Assets Control of the Department of the Treasury.
L1:(d) Subcontracts. The Contractor shall insert the substance of this clause,
L0:including this paragraph (d), in all subcontracts, including subcontracts for the
L0:acquisition of commercial products.
L0:(End of clause)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

252.225-7057 and the clause at DFARS 252.225-7058 to Defense Pricing, Contracting, and

Status: active

L0:252.225-7057 and the clause at DFARS 252.225-7058 to Defense Pricing, Contracting, and
L0:Acquisition Policy, Contract Policy (DPCAP/CP) via email at osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil.
L0:PGI 225.7021-3 National security waiver of disclosure.
L1:(b) Determination. The national security waiver request to the senior procurement
L0:executive shall include?
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L1:(1) The disclosure requirements to which the national security waiver applies;
L1:(2) The time period that the waiver will cover;
L1:(3) A description of the contract requirement;
L1:(4) Impacts if a national security waiver is not granted;
L1:(5) Operational and national security implications;
L1:(6) Other national security considerations, such as how the requested waiver will
L0:contribute to national security policy or operational security.
L1:(c) Include a copy of the signed determination in the contract file.
L1:(d) For a military department or defense agency provide a copy of the approved national

L0:security waiver to the Principal Director, Defense Pricing, Contracting, and Acquisition Policy,

L0:Contract Policy (DPCAP/CP) via email at osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil.

L1:(e) The following defense field activities must submit requests for national security

L0:waivers to DPCAP/CP via email at osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil:

L1:(1) Department of Defense Education Activity.

L1:(2) Defense Human Resources Activity.

L1:(3) Defense Microelectronics Activity.

L1:(4) Defense Media Activity.

L1:(5) Uniformed Services University of the Health Sciences.

L0:PGI 225.72?REPORTING CONTRACT PERFORMANCE OUTSIDE THE UNITED

L0:STATES

L0:PGI 225.7203 Contracting officer distribution of reports.

L1:(a) Before contract award, forward a copy of any reports that are submitted with offers in

L0:accordance with the provision at 252.225-7003, Report of Intended Performance Outside

L0:the United States and Canada?Submission with Offer, to the Office of the Principal Director,

L0:Defense Pricing, Contracting, and Acquisition Policy (Contract Policy) via email to

L1:(b) Forwarding the reports as described in paragraph (a) of this section is necessary to

L0:satisfy the requirement of 10 U.S.C. 4603 that notifications (or copies) of contract

L0:performance outside the United States and Canada be maintained in compiled form for 5

L0:years after the date of submission.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:PGI 225.73--ACQUISITIONS FOR FOREIGN MILITARY SALES

L0:PGI 225.7300 Scope of subpart.

L1:(a) The Foreign Military Sales (FMS) acquisition infrastructure is also used to execute

L0:cases funded with U.S. appropriated funds under special authority to build international

L0:partner capacity. These Building Partner Capacity (BPC) cases are implemented using

L0:Pseudo Letter of Offer and Acceptance (LOA) documents.

L0:PGI 225.7301 General.

L2:(c)(i) Separately identify known FMS requirements and the FMS customer in

L0:solicitations.

L1:(ii) For economies of scale and efficiency, combine U.S. and FMS requirements

L0:under the same contract whenever possible. It is not in the taxpayer?s interest to

L0:concurrently use mixed contract types for the same or similar items.

L1:(iii) Clearly identify contracts for known FMS requirements by the case identifier

L0:code in section B of the Schedule.

L1:(iv) Ensure that the FMS LOA terms and conditions are incorporated into the

L0:signed contract.

L1:(v) Ensure that the shipping terms for any contract for FMS materiel are stated as

L0:free on board (f.o.b.) origin.

L1:(vi) For Pseudo LOAs, ensure that the period of performance in the contract is

L0:consistent with the period of availability of appropriated funds, as provided by the financial

L0:resource manager.

L1:(vii) Consistent with the Defense Transportation Regulations (DTR) 4500.9-R-Part

L0:II, Cargo Movement, https://www.ustranscom.mil/dtr/part-ii/dtr_part_ii_toc.pdf , Appendix E,
L0:ensure that contracts involving the acquisition and delivery of FMS materiel comply with the
L0:policies, procedures, packaging, labeling, and documentation requirements specified by the

L0:DTR.

L1:(viii) The Government representative responsible for acceptance must ensure that
L0:the contractor prepares material inspection and receiving reports in compliance with?

L1:(A) Appendix F, F-301(b)(15)(iv)(K) for a Wide Area WorkFlow (WAWF)

L0:Receiving Report; or

L1:(B) F-401(b)(16)(iv)(L) for a paper DD Form 250, Material Inspection and
L0:Receiving Report, if an exception to the use of WAWF at 232.7003 applies.

L1:(ix) Prior to contract award, ensure that?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(A) If a contracting officer's representative is assigned, detailed point of
L0:contact information (email, phone number with international dialing protocols, and
L0:physical and mailing address) must be clearly visible;

L1:(B) Unique country requirements are specified in the contract (i.e.,
L0:additional documentation requirements for use in country customs clearance (Levy
L0:Exemption waiver));

L1:(C) Commodity-unique requirements are specified in the contract (i.e.,
L0:responsibility for obtaining/paying for/affixing active Radio Frequency Identification tags
L0:and Transportation Control Number construction/usage); and

L1:(D) The FMS Transportation Accounting Code is stated in the contract.

L0:PGI 225.7302 Preparation of Letter of Offer and Acceptance.

L2:(2)(i) Assist the DoD implementing agency, as necessary, in preparation of the Letter of
L0:Offer and Acceptance;

L1:(ii) Identify and explain all unusual contractual requirements or requests for
L0:deviations; and

L1:(iii) Assist in preparing the price and availability data.

L0:PGI 225.7303 Pricing acquisitions for FMS.

L0:PGI 225.7303-2 Cost of doing business with a foreign government or an international
L0:organization.

L2:(a)(3) Offsets.

L1:(A) Offsets are the entire range of industrial and commercial benefits provided
L0:to foreign governments as an inducement or condition to purchase military supplies or
L0:services, including benefits such as coproduction, licensed production, subcontracting,
L0:technology transfer, in-county procurement, marketing and financial assistance, and joint
L0:ventures (Defense Offsets Disclosure Act of 1999, Pub. L. 106-113, section 1243(3)). There
L0:are two types of offsets: direct offsets and indirect offsets.

L1:(i) A direct offset involves benefits, including supplies or services that are
L0:directly related to the item being purchased. For example, as a condition of a U.S. sale, the
L0:contractor may require or agree to permit the purchaser to produce in its country certain
L0:components or subsystems of the item being sold. Generally, direct offsets must be
L0:performed within a specified period because they are integral to the deliverable of the FMS
L0:contract.

L1:(ii) An indirect offset involves benefits, including supplies or services that
L0:are unrelated to the item being purchased. For example, as a condition of a sale the
L0:contractor may agree to purchase certain of the customer's manufactured products,
L0:agricultural commodities, raw materials, or services. Indirect offsets may be accomplished
L0:without a clearly defined period of performance.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L1:(B) Offset costs are the costs to the contractor of providing any direct or indirect
L0:offsets required (explicitly or implicitly) as a condition of purchase in a government-to-
L0:government sale of defense articles and/or defense services as defined by the Arms Export
L0:Control Act and the International Traffic in Arms Regulations.
L1:(C) An offset agreement is the contractual arrangement between the FMS
L0:customer and the U.S. defense contractor that identifies the offset obligation imposed by the
L0:FMS customer that has been accepted by the U.S. defense contractor as a condition of the
L0:FMS customer's purchase. These agreements are distinct and independent of the LOA and
L0:the FMS contract. Further information about offsets and LOAs may be found in the Defense
L0:Security Cooperation Agency (DSCA) Security Assistance Management Manual (DSCA
L0:5105.38-M), chapter 6, paragraph 6.3.9. (<http://samm.dsca.mil/chapter/chapter-6>).

L0:PGI 225.75?BALANCE OF PAYMENTS PROGRAM

L0:PGI 225.7502 Procedures.
L0:If the Balance of Payments Program applies, use the following procedures:
L1:(1) Solicitation of offers. Identify, in the solicitation, supplies and construction material
L0:known in advance to be exempt from the Balance of Payments Program.
L1:(2) Evaluation of offers.
L1:(i) Supplies. Unless the entire acquisition is exempt from the Balance of Payments
L0:Program, evaluate offers for supplies that are subject to the Balance of Payments Program
L0:using the evaluation procedures in DFARS Subpart 225.5. However, treatment of duty may
L0:differ when delivery is overseas.
L1:(A) Duty may not be applicable to nonqualifying country offers.
L1:(B) The U.S. Government cannot guarantee the exemption of duty for
L0:components or end products imported into foreign countries.
L1:(C) Foreign governments may impose duties. Evaluate offers including such
L0:duties as offered.
L1:(ii) Construction. Because the contracting officer evaluates the estimated cost of
L0:foreign and domestic construction material in accordance with DFARS 225.7501(a)(7)(iv)
L0:before issuing the solicitation, no special procedures are required for evaluation of
L0:construction offers.
L1:(3) Postaward. For construction contracts, the procedures at FAR 25.206, for
L0:noncompliance under the Buy American statute, also apply to noncompliance under the
L0:Balance of Payments Program.

L0:PGI 225.76?SECONDARY ARAB BOYCOTT OF ISRAEL

L0:PGI 225.7604 Waivers.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

L0:Forward waiver requests to the Office of the Principal Director, Defense Pricing, Contracting,
L0:and Acquisition Policy (Contract Policy) via email to

L0:PGI 225.78?ACQUISITIONS IN SUPPORT OF GEOGRAPHIC COMBATANT

L0:COMMAND?S THEATER SECURITY COOPERATION EFFORTS

L0:PGI 225.7801 Policy.

L0:DoD components are responsible for providing procurement and contracting support of
L0:theater security cooperation efforts conducted in support of combatant commander/Chief of
L0:Mission, to include military exercises/training, base operations, weapons procurement,
L0:aviation fuels and construction and the President's Emergency Plan for Aids relief. By
L0:Director, Defense Procurement and Acquisition Policy (DPAP) memorandum dated May 6,
L0:2011 and its attachment, Department of State (DoS) Cable 11 STATE 030953, ?Procurement
L0:Roles and Responsibilities - General Services Officer and DoD Personnel,? DoS
L0:procurement support is normally restricted to those routine non-complex supplies and
L0:services used by U. S. Government personnel permanently assigned at post and acquired
L0:for U. S. Government employee direct use. Follow all guidance set forth in this Director,
L0:DPAP-approved cable and associated planning considerations at PGI 207.105 (b)(20)(E).

L0:PGI 225.79?EXPORT CONTROL

L0:PGI 225.7901 Export-controlled items.

L0:PGI 225.7901-2 General.

L1:(1) DoD Focal Point on Export Controls.

L1:(i) Within DoD, the focal point on export controls is the Defense Technology Security
L0:Administration (DTSA). Official authorities and responsibilities of DTSA are established in
L0:DoD Directive 5105.72.

L1:(ii) Initial DoD acquisition workforce questions regarding the applicability of the
L0:Export Administration Regulations (EAR) or the International Traffic in Arms Regulations
L1:(ITAR) to specific procurements or items, or interpretation of DoD issuances regarding
L0:export controls, may be directed to the DTSA Policy Directorate, by phone at 571-372-
L0:2438/2377 or by visiting the DTSA web site at: [http://www.dtsa.mil/SitePages/contact-](http://www.dtsa.mil/SitePages/contact-us/default.aspx)
L0:us/default.aspx.

L1:(2) Regulations. The Department of State and the Department of Commerce are the
L0:lead agencies responsible for regulations governing the export of defense articles,
L0:commercial products or commercial services, and dual use items.

L1:(i) The International Traffic in Arms Regulations (ITAR), issued by the Department of
L0:State, control the export of defense-related articles and services, including technical data,
L0:ensuring compliance with the Arms Export Control Act (22 U.S.C. 2751 et seq.). The United
L0:States Munitions List (USML) identifies defense articles, services, and related technical data
L0:that are inherently military in character and could, if exported, jeopardize national security or
L0:foreign policy interests of the United States.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(A) The ITAR is published in Title 22 of the Code of Federal Regulations (CFR),
L0:Parts 120 through 130 (22 CFR 120-130). The official version of the ITAR is maintained at
L0:<https://www.ecfr.gov/current/title-22>.

L1:(B) The USML is part of the ITAR, in 22 CFR Part 121, and is available at the

L0:web sites in paragraph (2) (i) (A) of this section.

L1:(C) The Department of State is responsible for compliance with the ITAR.

L0:Depending on the nature of questions you may have, you may contact the following

L0:Department of State office to obtain additional information:

L0:U.S. Department of State

L0:Bureau of Political Military Affairs

L0:Directorate of Defense Trade Controls

L0:Office of Defense Trade Controls Compliance

L0:[https://www.state.gov/bureaus-offices/under-secretary-for-arms-control-and-international-](https://www.state.gov/bureaus-offices/under-secretary-for-arms-control-and-international-security-affairs/bureau-of-political-military-affairs/directorate-of-defense-trade-controls-pm-ddtc/)

L0:[security-affairs/bureau-of-political-military-affairs/directorate-of-defense-trade-controls-pm-](https://www.state.gov/bureaus-offices/under-secretary-for-arms-control-and-international-security-affairs/bureau-of-political-military-affairs/directorate-of-defense-trade-controls-pm-ddtc/)

L0:[ddtc/](https://www.state.gov/bureaus-offices/under-secretary-for-arms-control-and-international-security-affairs/bureau-of-political-military-affairs/directorate-of-defense-trade-controls-pm-ddtc/).

L1:(D) Contracting officers should not answer any questions a contractor may ask

L0:regarding how to comply with the ITAR. If asked, the contracting officer should direct the

L0:contractor's attention to paragraph (c) of the clause at DFARS 252.225-7048 and may

L0:inform the contractor that the Department of State publishes guidance regarding ITAR

L0:compliance at [https://www.state.gov/bureaus-offices/under-secretary-for-arms-control-and-](https://www.state.gov/bureaus-offices/under-secretary-for-arms-control-and-international-security-affairs/bureau-of-political-military-affairs/directorate-of-defense-trade-controls-pm-ddtc/)

L0:[international-security-affairs/bureau-of-political-military-affairs/directorate-of-defense-trade-](https://www.state.gov/bureaus-offices/under-secretary-for-arms-control-and-international-security-affairs/bureau-of-political-military-affairs/directorate-of-defense-trade-controls-pm-ddtc/)

L0:[controls-pm-ddtc/](https://www.state.gov/bureaus-offices/under-secretary-for-arms-control-and-international-security-affairs/bureau-of-political-military-affairs/directorate-of-defense-trade-controls-pm-ddtc/).

L1:(E) Contracting officers should not answer any questions a contractor may ask

L0:regarding the State Department requirement, mentioned in the clause at 252.225-7048,

L0:for contractors to register with the Department of State in accordance with the ITAR. If

L0:asked, the contracting officer should direct the contractor's attention to paragraph (b) of

L0:the clause, which directs the contractor to consult with the Department of State

L0:regarding any questions relating to compliance with the ITAR. (The registration

L0:requirements are in Subpart 122.1 of the ITAR. Subpart 122.1 requires any person who

L0:engages in the United States in the business of either manufacturing or exporting

L0:defense articles or furnishing defense services to register with the Directorate of

L0:Defense Trade Controls.)

L1:(ii) The Export Administration Regulations (EAR), issued by the Department of

L0:Commerce, control the export of dual-use items, (items that have both commercial and

L0:military or proliferation applications) and purely commercial products or commercial

L0:services. These items include commodities, software, and technology. Many items subject

L0:to the EAR are set forth by Export Control Classification Number on the Commerce Control

L0>List.

L1:(A) The EAR is published in Title 15 of the Code of Federal Regulations, Parts

L0:730 through 774 (15 CFR Parts 730-774), available at [https://www.ecfr.gov/current/title-](https://www.ecfr.gov/current/title-15/subtitle-B/chapter-VII/subchapter-C)

L0:[15/subtitle-B/chapter-VII/subchapter-C](https://www.ecfr.gov/current/title-15/subtitle-B/chapter-VII/subchapter-C).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(B) The Commerce Control List is part of the EAR, in Supplement No. 1 to 15

L0:CFR Part 774, and is available at [https://www.ecfr.gov/current/title-15/subtitle-B/chapter-](https://www.ecfr.gov/current/title-15/subtitle-B/chapter-VII/subchapter-C)

L0:[VII/subchapter-C](https://www.ecfr.gov/current/title-15/subtitle-B/chapter-VII/subchapter-C).

L1:(C) The Department of Commerce is responsible for compliance with the EAR.

L0:Depending on the nature of questions you may have, you may contact the following

L0:Department of Commerce office to obtain additional information:

L0:U.S. Department of Commerce

L0:Bureau of Industry and Security

L0:Office of Exporter Services (OExS)

L0:OExS Hotline: 202-482-4811.

L1:(D) Contracting officers should not answer any questions a contractor may ask

L0:regarding how to comply with the EAR. If asked, the contracting officer should direct

L0:the contractor's attention to paragraph (b) of the clause at DFARS 252.225-7048 and

L0:may inform the contractor that the Department of Commerce publishes guidance

L0:regarding EAR compliance at <http://www.bis.doc.gov/>.

L1:(3) National Security Decision Directive (NSDD) 189, National Policy on the Transfer of

L0:Scientific, Technical, and Engineering Information.

L1:(i) NSDD 189 establishes a national policy that, to the maximum extent possible,

L0:the products of fundamental research must remain unrestricted. NSDD 189 provides that

L0:no restrictions may be placed upon the conduct or reporting of federally funded fundamental

L0:research that has not received national security classification, except as provided in

L0:applicable U.S. statutes. As a result, contracts confined to the performance of unclassified

L0:fundamental research generally do not involve any export-controlled items, as defined in

L0:paragraph (a) of the clause at DFARS 252.225-7048.

L1:(ii) NSDD 189 does not take precedence over statutes. NSDD 189 does not

L0:exempt any research, whether basic, fundamental, or applied, from statutes that apply to

L0:export controls such as the Arms Export Control Act, the Export Administration Act of 1979,

L0:as amended, or the U.S. International Emergency Economic Powers Act, or the regulations

L0:that implement those statutes (the ITAR and the EAR). Thus, if export-controlled items are

L0:used to conduct research or are generated as part of the research efforts, the export control

L0:laws and regulations apply to the controlled items.

L1:(iii) NSDD 189 is available at <http://www.fas.org/irp/offdocs/nsdd/nsdd-189.htm>.

L1:(4) DoD Instruction 2040.02, International Transfers of Technology, Articles, and

L0:Services. This DoD instruction provides guidance to manage and control transfers of

L0:technology, articles, and services consistent with U.S. foreign policy and national security

L0:objectives. DoD Instruction 2040.02 is available at

L0:<https://www.esd.whs.mil/Portals/54/Documents/DD/issuances/dodi/204002p.pdf?ver=2019->

L0:01-28-141235-830.

L1:(5) Other DoD Issuances. Other DoD issuances that address export control matters

L0:include those listed below. Except as otherwise noted, these issuances are available at

L0:<https://www.esd.whs.mil/DD/>.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:? DoD Instruction 2015.4, Defense Research, Development, Test and Evaluation

L0:(RDT&E) Information Exchange Program (IEP).

L0:? DoD Directive 5000.1, The Defense Acquisition System.

L0:? DoD Instruction 5000.2, Operation of the Defense Acquisition System.

L0:? DoD Directive 5105.72, Defense Technology Security Administration (DTSA).

L0:? DoD Publication 5200.1-M, Acquisition Systems Protection Program.

L0:? DoD Instruction 5200.39, Critical Program Information (CPI) Protection Within the

L0:Department of Defense.

L0:? The National Industrial Security Program Operating Manual (NISPOM) at 32 CFR part

L0:117.

L0:? DoD Directive 5230.25, Withholding of Unclassified Technical Data From Public

L0:Disclosure.

L0:? DoD Instruction 5230.27, Presentation of DoD-Related Scientific and Technical Papers

L0:at Meetings.

L0:? Acquisition Guidebooks & References, available at <https://aaf.dau.edu/guidebooks/> .

L0:? Under Secretary of Defense (Intelligence) Memorandum, Subject: Policy and

L0:Procedures for Sanitization of Department of Defense (DoD) Classified or Controlled

L0:Unclassified Information Prior to Public Release, is available here

L0:Link to online training on export controls:

L0:CLI 007 Technology Transfer and Export Control, <https://www.dau.edu/courses/cli-007>

L0:PGI 225.7902 Defense Trade Cooperation Treaties.

L0:The following documents are accessible at: <http://pmddtc.state.gov/>:

L0:? DTC Treaties.

L0:? Implementing Arrangements.

L0:? The provisions of the International Traffic in Arms Regulations (ITAR) (22 CFR 126.16

L1:(Australia) and 22 CFR 126.17 (United Kingdom)) pertaining to the DTC Treaties.

L0:? List of Defense Articles Exempted from DTC Treaty Coverage (also in 22 CFR 126

L0:Supplement No. 1).

L0:? List of Approved Community Members.

L0:? Definitions.

L0:PGI 225.7902-2 Purpose.

L1:(1) Background.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(i) The U.S. Government controls exports of defense articles, technical data, and

L0:defense services. The controls are imposed by the Arms Export Control Act (AECA) and the

L0:Department of State regulation that implements the AECA export controls, also known as

L0:the ITAR.

L1:(ii) Under the ITAR, the Department of State manages an export licensing system in

L0:which government approvals are often necessary for companies to hold discussions about

L0:potential projects, pursue joint activities, ship hardware, or transfer know-how to one

L0:another, and even sometimes to move engineers and other personnel within branches of the

L0:same company located in different countries. This process can be challenging for U.S.

L0:exporters and for foreign firms in their supply chains.

L1:(iii) Given the close allied relationship of the United States with Australia and the

L0:United Kingdom, the President and the respective Prime Ministers decided to reform the

L0:defense trade system between their countries with the goal of facilitating the exchange of

L0:certain defense articles, technical data, and defense services between their militaries and

L0:security authorities, and their industries. They negotiated bilateral Defense Trade

L0:Cooperation DTC Treaties to achieve this goal. These bilateral DTC Treaties establish

L0:permissions for export without export licenses for each country, if an export meets the DTC

L0:Treaty requirements. Other exports remain under the AECA and the ITAR. The DTC

L0:Treaties are intended solely to waive certain requirements of the ITAR for specific

L0:transactions within the scope of the DTC Treaties not remove any requirements for
L0:contractors to comply with domestic U.S. law.

L1:(iv) The Department of State regulations implementing the DTC Treaties are in the

L0:ITAR.

L1:(2) How the DTC Treaties work.

L1:(i) The DTC Treaties establish Approved Communities. The "Approved Community"

L0:for each DTC Treaty is defined in DFARS clause 252.225-7047. Exports of most U.S.

L0:defense articles, technical data, and defense services are permitted to go into and to move

L0:within the Approved Community, without the need for government approvals and export

L0:licenses (provided that all persons comply with statutory and regulatory requirements

L0:outside of DFARS and ITAR concerning the import of defense articles and defense services

L0:or the possession or transfer of defense articles, including, but not limited to, regulations

L0:issued by the Bureau of Alcohol, Tobacco, Firearms and Explosives found at 27 C.F.R. Parts

L0:447, 478, and 479, which are unaffected by the DTC Treaties) when in support of the

L0:following:

L0:" Combined U.S.-Australia or U.S.-U.K. military or counterterrorism operations.

L0:" U.S.-Australia or U.S.-U.K. cooperative security and defense research, development,

L0:production, and support programs.

L0:" Specific security and defense projects that are for the government of Australia or the

L0:government of the United Kingdom use only.

L0:" U.S. Government end use.

L1:(ii) Under the DTC Treaties, instead of a U.S. exporter preparing and requesting

L0:Department of State approval of an export license or other written authorization for a project,

L0:the exporter may elect to use the applicable DTC Treaty if Treaty conditions are met. If

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:using a DTC Treaty, the exporter will check the Department of State website or other

L0:appropriate reference and verify that?

L0:" The Australian or U.K. partner is on the list of approved companies/facilities (i.e., a

L0:member of the Approved Community);

L0:" The effort is in support of at least one of the scope areas identified in paragraph (2)(i) of

L0:this section; and

L0:" The defense article is not on the exempted technology list. (Also in 22 CFR 126

L0:Supplement No. 1).

L0:If all three conditions are met, then the U.S. exporter and the Australian or U.K. partner may

L0:use the DTC Treaty exemptions in the ITAR to move qualifying defense articles without the

L0:need to obtain export licenses or other written authorizations, provided compliance with

L0:paragraph (2)(i) of this section.

L1:(iii) A company using a DTC Treaty, in addition to checking the three lists (as

L0:explained in paragraph (2)(ii) of this section), must also comply with requirements in the

L0:applicable DTC Treaty and the associated Implementing Arrangements, and the provisions

L0:of the ITAR pertaining to the DTC Treaty. These include marking and recordkeeping

L0:requirements to ensure that export-controlled items are recognized as such and treated

L0:accordingly. For example, instead of normal ITAR requirements, the provisions of the ITAR

L0:pertaining to the DTC Treaties establish the requirements that apply. Similarly, DFARS

252.225-7058 Postaward Disclosure of Employment of Individuals Who

Status: active

L0:252.225-7058 Postaward Disclosure of Employment of Individuals Who

L0:Work in the People's Republic of China.

L0:As prescribed in 225.7021-4(b), use the following clause:

L0:POSTAWARD DISCLOSURE OF EMPLOYMENT OF INDIVIDUALS WHO

L0:WORK IN THE PEOPLE'S REPUBLIC OF CHINA (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Covered contract? means any DoD contract or subcontract with a value in

L0:excess of \$5 million, not including contracts for commercial products and

L0:commercial services.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Covered entity? means any corporation, company, limited liability company,

L0:limited partnership, business trust, business association, or other similar entity,

L0:including any subsidiary thereof, performing work on a covered contract in the

L0:People's Republic of China, including by leasing or owning real property used in the

L0:performance of the covered contract in the People's Republic of China.

L1:(b) Disclosure requirement.

L1:(1) In accordance with section 855 of the National Defense Authorization

L0:Act for Fiscal Year 2022 (Pub. L. 117-81, 10 U.S.C. 4651 note prec.), DoD may not

L0:award, extend, or exercise an option on a covered contract with a covered entity

L0:unless such covered entity submits each required disclosure of its use of workforce

L0:and facilities in the People's Republic of China, if it employs one or more individuals

L0:who perform work in the People's Republic of China on a covered contract.

L1:(2) If the Contractor is a covered entity, the Contractor shall disclose for the

L0:Government's fiscal years 2023 and 2024, the Contractor's employment of one or

L0:more individuals who perform work in the People's Republic of China on any

L0:covered contract. The disclosures shall include?

L1:(i) The total number of such individuals who perform work in the

L0:People's Republic of China on the covered contracts funded by DoD; and

L1:(ii) A description of the physical presence, including street address or

L0:addresses in the People's Republic of China, where work on the covered contract is

L0:performed.

L1:(c) Subcontracts. The Contractor shall insert this clause, including this

L0:paragraph (c), without alteration other than to identify the appropriate parties, in

L0:all subcontracts that meet the definition of a covered contract.

L0:(End of clause)

252.225-7059 Prohibition on Certain Procurements from the Xinjiang

Status: active

L0:252.225-7059 Prohibition on Certain Procurements from the Xinjiang

L0:Uyghur Autonomous Region-Representation.

L0:As prescribed in 25.7022-5(a), use the following provision:

L0:PROHIBITION ON CERTAIN PROCUREMENTS FROM THE XINJIANG

L0:UYGHUR AUTONOMOUS REGION-REPRESENTATION (JUN 2023)

L1:(a) Definitions. ?Forced labor? and ?XUAR?, as used in this provision, have the

L0:meaning given in the 25.225-7060, Prohibition on Certain Procurements from the

L0:Xinjiang Uyghur Autonomous Region, clause of this solicitation.

L1:(b) Prohibition. DoD may not knowingly procure any products mined, produced,

L0:or manufactured wholly or in part by forced labor from XUAR or from an entity that

L0:has used labor from within or transferred from XUAR as part of any forced labor

L0:programs, as specified in paragraph (b) of the 25.225-7060, Prohibition on Certain

L0:Procurements from the Xinjiang Uyghur Autonomous Region, clause of this

L0:solicitation.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(c) Representation. By submission of its offer, the Offeror represents that it has

L0:made a good faith effort to determine that forced labor from XUAR will not be used

L0:in the performance of a contract resulting from this solicitation.

L0:(End of provision)

252.225-7060 Prohibition on Certain Procurements from the Xinjiang

Status: active

L0:252.225-7060 Prohibition on Certain Procurements from the Xinjiang

L0:Uyghur Autonomous Region.

L0:As prescribed in 25.7022-5(b), use the following clause:

L0:PROHIBITION ON CERTAIN PROCUREMENTS FROM THE XINJIANG

L0:UYGHUR AUTONOMOUS REGION (JUN 2023)

L1:(a) Definitions. As used in this clause?

L0:?'Forced labor?' means any work or service that is exacted from any person under

L0:the menace of any penalty for nonperformance and that the worker does not offer to

L0:perform (10 U.S.C. 2496).

L0:?'XUAR?' means the Xinjiang Uyghur Autonomous Region of the People?s

L0:Republic of China (10 U.S.C. 2496).

L1:(b) Prohibition. In accordance with 10 U.S.C. 4661, none of the funds appropriated

L0:or otherwise made available for DoD may be used to knowingly procure any products

L0:mined, produced, or manufactured wholly or in part by forced labor from XUAR or from

L0:an entity that has used labor from within or transferred from XUAR. The Contractor

L0:shall make a good faith effort to determine that forced labor from XUAR will not be

L0:used in the performance of this contract (section 855, Pub. L. 117-263).

L1:(c) Subcontracts. The Contractor shall insert this clause, including this

L0:paragraph (c), without alteration other than to identify the appropriate parties, in

L0:subcontracts including subcontracts for commercial products, commercial services,

L0:and commercially available off-the-shelf items.

L0:(End of clause)

252.225-7061 Restriction on the Acquisition of Personal Protective

Status: active

L0:252.225-7061 Restriction on the Acquisition of Personal Protective

L0:Equipment and Certain Other Items from Non-Allied Foreign Nations.

L0:As prescribed in 225.7023-4, use the following clause:

L0:RESTRICTION ON THE ACQUISITION OF PERSONAL PROTECTIVE

L0:EQUIPMENT AND CERTAIN OTHER ITEMS FROM NON-ALLIED FOREIGN

L0:NATIONS (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Covered country? means?

L1:(1) The Democratic People's Republic of North Korea;

L1:(2) The People's Republic of China;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(3) The Russian Federation; and

L1:(4) The Islamic Republic of Iran.

L0:Covered item? means an article or item of?

L1:(1) Personal protective equipment for use in preventing spread of disease,

L0:such as by exposure to infected individuals or contamination or infection by

L0:infectious material, including?

L1:(i) Nitrile and vinyl gloves;

L1:(ii) Surgical masks;

L1:(iii) Respirator masks and powered air purifying respirators and

L0:required filters;

L1:(iv) Face shields and protective eyewear;

L1:(v) Surgical and isolation gowns and head and foot coverings; or

L1:(vi) Clothing; and

L1:(vii) The materials and components thereof, other than sensors,

L0:electronics, or other items added to and not normally associated with such personal

L0:protective equipment or clothing; or

L1:(2) Sanitizing and disinfecting wipes, testing swabs, gauze, and bandages.

L1:(b) Restriction. The Contractor shall not deliver under this contract a covered

L0:item from a covered country (10 U.S.C. 4875).

L1:(c) Subcontracts. The Contractor shall insert this clause, including this

L0:paragraph (c), without alteration other than to identify the appropriate parties, in

L0:subcontracts valued above \$150,000 that are for the acquisition of covered items,

L0:including subcontracts for commercial products, including commercially available

L0:off-the-shelf items, and commercial services.

L0:(End of clause)

252.225-7062 Restriction on Acquisition of Large Medium-Speed Diesel

Status: active

L0:252.225-7062 Restriction on Acquisition of Large Medium-Speed Diesel

L0:Engines.

L0:As prescribed in 225.7004-7(b), use the following clause:

L0:RESTRICTION ON ACQUISITION OF LARGE MEDIUM-SPEED DIESEL

L0:ENGINES (JUL 2023)

L1:(a) Definition. As used in this clause?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Large medium-speed diesel engines? means diesel engines whose revolutions

L0:per minute (RPM) fall between 300 and 1500 RPM with a displacement greater

L0:than 1500 cubic inches per cylinder.

L1:(b) Restriction. As required by 10 U.S.C. 4864, the Contractor shall deliver

L0:under this contract large medium-speed diesel engines manufactured in the United

L0:States, Australia, Canada, New Zealand, or the United Kingdom.

L1:(c) Subcontracts. The Contractor shall include the substance of this clause,

L0:including this paragraph (c), in subcontracts that exceed the simplified acquisition

L0:threshold, including subcontracts for commercial products and commercial services,

L0:that require large medium-speed diesel engines for new construction of auxiliary

L0:ships.

L0:(End of clause)

252.225-7063 Restriction on Acquisition of Components of T-AO 205 and T-

Status: active

L0:252.225-7063 Restriction on Acquisition of Components of T-AO 205 and T-

L0:ARC Class Vessels.

L0:As prescribed in 225.7004-7(c), use the following clause:

L0:RESTRICTION ON ACQUISITION OF COMPONENTS OF T-AO 205 AND T-ARC

L0:CLASS VESSELS (MAY 2024)

L1:(a) Restriction.

L1:(1) In accordance with 10 U.S.C. 4864, the following components of T-AO

L0:205 and T-ARC class vessels must be manufactured in the United States, Australia,

L0:Canada, New Zealand, or the United Kingdom of Great Britain and Northern

L0:Ireland (United Kingdom):

L1:(i) Auxiliary equipment, including pumps, for all shipboard services.

L1:(ii) Propulsion system components, including engines, reduction gears,

L0:and propellers.

L1:(iii) Shipboard cranes.

L1:(iv) Spreaders for shipboard cranes.

L1:(2) The Contractor shall deliver under this contract only T-AO 205 and T-

L0:ARC class vessel components, as described in paragraph (a)(1) of this clause,

L0:manufactured in the United States, Australia, Canada, New Zealand, or the United Kingdom (10 U.S.C. 4864).

L1:(b) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (b), in subcontracts for the components described in paragraph (a)(1) of this clause that exceed the simplified acquisition threshold, including subcontracts for commercial products and commercial services.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

252.225-7064 Restriction on Acquisition of Certain Satellite Components

Status: active

L0:252.225-7064 Restriction on Acquisition of Certain Satellite Components.
L0:As prescribed in 225.7004-7(d), use the following clause:

L0:RESTRICTION ON ACQUISITION OF CERTAIN SATELLITE COMPONENTS **L0:(MAY 2024)**

L1:(a) Definition. As used in this clause?
L0:“Star tracker” means a navigational tool used in a satellite weighing more than 400 pounds whose principal purpose is to support the national security, defense, or intelligence needs of the U.S. Government.

L1:(b) Restriction. In accordance with 10 U.S.C. 4864, a star tracker must be manufactured in the United States, Australia, Canada, New Zealand, or the United Kingdom of Great Britain and Northern Ireland (United Kingdom). The Contractor shall deliver under this contract only star trackers manufactured in the United States, Australia, Canada, New Zealand, or the United Kingdom.

L1:(c) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (c), in subcontracts for star trackers that exceed the simplified acquisition threshold, including subcontracts for commercial products and commercial services.

L0:(End of clause)

252.225-7964 Restriction on Acquisition of Fuel for Overseas Contingency

Status: active

L0:252.225-7964 Restriction on Acquisition of Fuel for Overseas Contingency Operations.
L0:As prescribed in 225.7024-4, use the following provision:

L0:RESTRICTION ON ACQUISITION OF FUEL FOR OVERSEAS CONTINGENCY **L0:OPERATIONS (DEVIATION 2026-00041)(FEB 2026)**

L1:(a) Prohibition. For an overseas contingency operation, DoD may not procure fuel in whole or in part, or derivatives of such fuel, that is sourced from nations or regions prohibited from selling petroleum to the United States. See Federal

L0:Acquisition Regulation subpart 40.2 and the Office of Foreign Assets Control
L0:website at <https://ofac.treasury.gov/sanctions-programs-and-country-information>
L0:for prohibited sources.

L1:(b) Certification. Offerors shall complete the certification in paragraph (b)(1) of
L0:this provision and submit the certification with their offer.

L1:(1) The Offeror does [] does not [] certify that the fuel, in whole or in part,
L0:or derivatives of such fuel, to be provided under any contract resulting from this
L0:solicitation is not sourced from a nation or region prohibited from selling petroleum
L0:to the United States.

L1:(2) Only Offerors who certify that the fuel to be provided is not sourced from
L0:a prohibited nation or region will be eligible for award.

L1:(c) Compliance.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

L1:(1) When requested by the Contracting Officer, the prospective Contractor
L0:shall submit records necessary to demonstrate compliance with applicable laws and
L0:regulations regarding export-controlled items and anticorruption statutes and
L0:regulations including?

L1:(i) The Foreign Corrupt Practices Act (15 U.S.C. 78dd-1 et seq.);

L1:(ii) International Traffic in Arms Regulations (ITAR) at 22 CFR 120
L0:through 130 (also see Defense Federal Acquisition Regulation Supplement (DFARS)
L0:clause 252.225-7048, Export-Controlled Items);

L1:(iii) Export Administration Regulations (EAR) at 15 CFR 730 through
L0:774 (also see DFARS clause 252.225-7048); and

L1:(iv) Relevant regulations promulgated by the Office of Foreign Assets
L0:Control of the Department of the Treasury. Sanction information for specific
L0:countries and programs is available at [https://ofac.treasury.gov/sanctions-](https://ofac.treasury.gov/sanctions-programs-and-country-information)
L0:programs-and-country-information.

L1:(2) The Offeror shall contact the Department of State regarding ITAR
L0:compliance and the Department of Commerce regarding EAR compliance.

L1:(d) Reporting requirement. The Offeror shall, prior to contract award, promptly
L0:report to the Contracting Officer any instance of unsupported denial of access to a
L0:facility or equipment by a host-nation government that may prevent it from
L0:complying with the terms and conditions of the solicitation.

L0:(End of provision)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225

L0:PGI PART 225?FOREIGN ACQUISITION

L0:PGI 225.001 General.

L0:Consider the following when evaluating offers of foreign end products:

L1:(1) Statutory or policy restrictions.

L1:(i) Determine whether the product is restricted by?

L1:(A) Statute (see DFARS subpart 225.70); or

L1:(B) DoD policy (see DFARS subpart 225.71, FAR 6.103-3, and DoD Directive
L0:5230.11, Disclosure of Classified Military Information to Foreign Governments and

L0:International Organizations).

L1:(ii) If an exception to or waiver of a restriction in DFARS subpart 225.70 or 225.71

L0:would result in award of a foreign end product, apply the policies and procedures of the Buy

L0:American statute or the Balance of Payments Program, and, if applicable, the trade

L0:agreements.

L1:(2) Memoranda of understanding or other international agreements. Determine whether

L0:the offered product is the product of one of the qualifying countries listed in DFARS 225.872-

L0:1.

L1:(3) Trade agreements. If the product is not an eligible product, a qualifying country end

L0:product, or a U.S.-made end product, purchase of the foreign end product may be prohibited

L0:(see FAR 25.403(c) and DFARS 225.403(c)).

L1:(4) Other trade sanctions and prohibited sources.

L1:(i) Determine whether the offeror complies with the secondary Arab boycott of

L0:Israel. Award to such offerors may be prohibited (see DFARS subpart 225.76).

L1:(ii) Determine whether the offeror is a prohibited source (see FAR subpart 40.2 and

L0:DFARS Subpart 240.2).

L1:(5) Buy American and Balance of Payments Program. See the evaluation procedures in

L0:DFARS subpart 225.5.

L0:PGI 225.070 Reporting of acquisition of end products manufactured outside the

L0:United States.

L1:(1) Definitions. "Manufactured end product" and "place of manufacture" are defined in

L0:the provision at FAR 52.225-18, Place of Manufacture.

L1:(2) Use the Federal Procurement Data System data field "Place of Manufacture," under

L0:the section on Product or Service Information, to enter data on the acquisition of end

L0:products manufactured outside the United States for contracts awarded and orders issued in

L0:fiscal year 2007 and subsequent fiscal years. Select the appropriate description in

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:accordance with the following table:

L0:Place of Manufacture

L0:Short Description

L0:as viewed in drop

L0:down box

L0:Manufactured or

L0:performed outside

L0:United States

L0:(Actions prior to FY

L0:2007 only)

L0:Mfg in U.S.

L0:Mfg outside U.S. -

L0:Commercial

L0:information

L0:technology

L0:Mfg outside U.S. -

L0:Domestic

L0:nonavailability
L0:Long Description
L0:The action is for (i) Any foreign end product manufactured
L0:outside the United States; or (ii) Services performed outside
L0:the United States by a foreign concern.
L0:The action is predominantly for acquisition of manufactured
L0:end products that are manufactured in the United States.
L0:The foreign manufactured end products are predominantly
L0:commercial information technology items (FAR 25.103(e)).
L0:The foreign manufactured end products were predominantly
L0:not domestically available as shown by one of the following:
L0:? The item is listed at FAR 25.104 (FAR 25.103(b)(1)).
L0:? The agency did an individual determination (FAR
L0:25.103(b)(2)).
L0:Mfg outside U.S. -
L0:Public interest
L0:determination
L0:The head of the agency has made a determination that
L0:domestic preferences would be inconsistent with the public
L0:interest (FAR 25.103(a)).
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L0:Mfg outside U.S. -
L0:Qualifying country
L0:For DoD only, the foreign manufactured end products are
L0:predominantly qualifying country end products (DFARS

225.003 and 225.872-1)

Status: active

L0:225.003 and 225.872-1).
L0:Mfg outside U.S. -
L0:Resale
L0:The foreign manufactured end products acquired are
L0:predominantly for resale (FAR 25.103(d)).
L0:Mfg outside U.S. -
L0:Trade Agreements
L0:The foreign manufactured end products are predominantly
L0:eligible products acquired under Trade Agreements (FAR
L0:25.402(a)(1)).
L0:Mfg outside U.S. -
L0:Unreasonable cost
L0:The cost of the offered domestic end products was
L0:unreasonable (FAR 25.103(c), 25.106, and Subpart 25.5).

L0:Mfg outside U.S. -

L0:Use outside the

L0:United States

L0:The foreign manufactured end products acquired are

L0:predominantly for use outside the United States (FAR

L0:25.100).

L0:More than 50% of

L0:foreign content, but

L0:manufactured in

L0:United States

L0:(Actions prior to FY

L0:2007 only)

L0:The action is for (i) A foreign end product that is

L0:manufactured in the United States but still determined to be

L0:foreign because 50 percent or more of the cost of the

L0:components is not mined, produced, or manufactured inside

L0:the United States or qualifying countries; or (ii) Services

L0:performed in the United States by a foreign concern.

L0:Not applicable

L0:The action is NOT predominantly for acquisition of

L0:manufactured end products.

L1:(3) Note that the first and second from the last options in the drop down box are to be

L0:used only for reporting of contracts awarded or orders issued prior to October 1, 2006.

L1:(4) The other options in the drop down box apply only to contracts awarded and orders

L0:issued on or after October 1, 2006. If the solicitation for the contract contains the provision

L0:at FAR 52.225-18, Place of Manufacture , review the successful offeror?s response to this

L0:provision to select the correct option.

L1:(i) Enter ?Mfg in U.S.? if the offeror has checked the box ?In the United States.?

L1:(ii) If the offeror has checked the box ?Outside the United States,? enter one of the

L0:other options, depending on the predominant reason for acquiring end products

L0:manufactured outside the United States. These reasons correspond to the exceptions to

L0:the Buy American statute (FAR subpart 25.1 and DFARS subpart 225.1). Further

L0:explanation of these exceptions to the Buy American statute are available at the FAR and

L0:DFARS references provided in the long description for each option.

L1:(5) For any contract awarded on or after October 1, 2006, when the solicitation did not

L0:include the provision at FAR 52.225-18, Place of Manufacture , and for any order placed on

L0:or after October 1, 2006, under a contract that did not include one of these provisions, use

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:best judgment in estimating whether the acquisition is predominantly for manufactured end

L0:products and whether the end products were predominantly end products manufactured in

L0:the United States or outside the United States, using the place of performance or other

L0:information that may be available to the contracting officer to assist in forming this judgment.

L0:PGI 225.1?BUY AMERICAN?SUPPLIES

L0:PGI 225.101 General.

L2:(d)(1) When the contracting officer obtains the approval from the senior procurement executive (this authority is not delegable) to allow for the application of an alternate domestic content test for the contract, ensure the documentation evidencing the senior procurement executive's consultation with the Office of Management and Budget's Made in America Office and subsequent allowance for the application of an alternate domestic content test is included in the contract file.

L0:PGI 225.2?BUY AMERICAN?CONSTRUCTION MATERIALS

L0:PGI 225.270 Energy savings service contracts.

L1:(a) For DoD energy savings service contracts, the requirements documents from the requiring activity are required to specify if construction and construction materials will be used during the performance of the contract. If specified, then?

L1:(1) Include the FAR provisions and clauses regarding construction materials that implement the Buy American statute; and

L1:(2) Enforce them based on the associated terms and conditions of the contract.

L1:(b) See FAR subpart 23.2, Energy Savings Performance Contracts.

L0:PGI 225.3?[Reserved]

L0:PGI 225.5?EVALUATING FOREIGN OFFERS?SUPPLY CONTRACTS

L0:PGI 225.504 Evaluation examples.

L0:The following examples illustrate the evaluation procedures in DFARS 225.502(c)(ii). The examples assume that the contracting officer has eliminated all offers that are unacceptable for reasons other than price or a trade agreement and that price is the determining factor in contract award. The same evaluation procedures and the 50 percent evaluation factor apply regardless of whether the acquisition is subject to the Buy American Act (BAA) or the Balance of Payments Program (BOPP).

L1:(1) Example 1.

L0:Offer A

L0:Offer B

L0:\$945,000

L0:\$950,000

L0:Foreign offer subject to BAA/BOPP

L0:Foreign offer exempt from BAA/BOPP

L0:Since no domestic offers are received, do not apply the evaluation factor. Award on Offer A.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) Example 2.

L0:Offer A

L0:Offer B

L0:Offer C

L0:\$950,000

L0:\$890,000

L0:\$880,000

L0:Domestic offer

L0:Foreign offer exempt from BAA/BOPP

L0:Foreign offer subject to BAA/BOPP

L0:Since the exempt foreign offer is lower than the domestic offer, do not apply the evaluation

L0:factor. Award on Offer C.

L1:(3) Example 3.

L0:Offer A

L0:Offer B

L0:Offer C

L0:\$9,100

L0:\$8,900 Domestic offer

L0:\$6,000

L0:Foreign offer subject to BAA/BOPP

L0:Foreign offer exempt from BAA/BOPP

L0:Since the domestic offer is lower than the exempt foreign offer, apply the 50 percent

L0:evaluation factor to Offer C. This results in an evaluated price of \$9,000 for Offer C. Award

L0:on Offer B.

L1:(4) Example 4.

L0:\$910,000 Foreign offer exempt from BAA/BOPP

L0:\$890,000 Domestic offer

L0:\$590,000 Foreign offer subject to BAA/BOPP

L0:Offer A

L0:Offer B

L0:Offer C

L0:Since the domestic offer is lower than the exempt foreign offer, apply the 50 percent

L0:evaluation factor to Offer C. This results in an evaluated price of \$885,000 for Offer C.

L0:Award on Offer C.

L1:(5) Example 5.

L0:Offer A

L0:Offer B

L0:Offer C

L0:\$900,000 Foreign offer exempt from BAA/BOPP

L0:\$850,000 Domestic offer (complies with the required domestic content)

L0:\$550,000 Foreign offer subject to BAA/BOPP (exceeds the required

L0:domestic content)

L0:Since the domestic offer complies with the required domestic content and is lower than the

L0:exempt foreign offer, apply the 50 percent evaluation factor to Offer C. This results in an

L0:evaluated price of \$825,000 for Offer C. Award on Offer C.

L0:PGI 225.7?CONTRACTS PERFORMED OUTSIDE THE UNITED STATES

L0:PGI 225.770 Contracts requiring performance or delivery in a foreign country.

L1:(a) If the acquisition requires the performance of services or delivery of supplies in

L0:an area outside the United States, then?

L1:(i) Ensure that the solicitation and contract include any applicable host country

L0:and designated operational area performance considerations. Failure to provide such

L0:information?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(A) May result in a contract that does not reflect the respective support

L0:relationships between the contractor and the Government, ultimately affecting the ability

L0:of the contractor to fulfill the contract terms and conditions;

L1:(B) May result in unplanned support burdens being placed on the

L0:Government in a theater of operations;

L1:(C) May result in contractor personnel conflicting with theater operations or

L0:performing in violation of a theater commander's directives or host country laws; or

L1:(D) May cause contractor personnel to be wrongly subjected to host country

L0:laws;

L1:(ii) Comply with any theater business clearance and contract administration

L0:delegation requirements, and set forth by the combatant commander, and consistent

L0:with the Combat Support Agency's established functions and responsibilities.

L1:(A) Theater business clearance ensures?

L1:(1) Contracted effort to be accomplished in designated area(s) of

L0:operations, along with any associated contractor personnel, is visible to the combatant

L0:commander;

L1:(2) Contracted effort is in consonance with in-country commanders?

L0:plans;

L0:operation;

L1:(3) Solicitations and contracts contain appropriate terms and conditions;

L1:(4) Contracted effort will be properly overseen in designated area(s) of

L0:contractor personnel are properly addressed in the contract terms and conditions.

L1:(5) Any Government-furnished support requirements associated with

L1:(B) Contract administration delegation?

L1:(1) Allows the combatant commander to exercise control over the

L0:assignment of contract administration (which must be consistent with the combat

L0:support agency's established functions and responsibilities) for that portion of

L0:contracted effort that relates to performance in, or delivery to, designated area(s) of

L0:operation.

L1:(2) Allows the combatant commander to exercise oversight to ensure

L0:the contractor's compliance with combatant commander and subordinate task force

L0:commander policies, directives, and terms and conditions;

L1:(iii) [Reserved]

L1:(iv) Follow specific guidance for the combatant command in whose area the

L0:contractor will be performing services or delivering supplies. This guidance is contained

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:on the respective combatant commander's operational contract support webpage, which

L0:is linked to the procedures at <https://www.acq.osd.mil/asda/dpc/cp/cc/aor.html>, at the

L0:weblink for the combatant command for the area in which the contractor will be

L0:performing services or delivering items. These pages list prevailing regulations,

L0:policies, requirements, host nation laws, orders/fragmentary orders, combatant

L0:commander's directives, unique clauses, and other considerations necessary for

L0:soliciting and awarding a contract for performance in, or delivery of items to, that

L0:combatant commander's area of responsibility;

L1:(v) To determine the appropriate point(s) of contact for contracting matters

L0:within the combatant commander's area of responsibility, contact the overseas

L0:contracting office by accessing the link for the combatant command in whose area of

L0:responsibility the contractor will be performing services or delivering items. From the

L0:combatant command website, link to the contracting office supporting the combatant

L0:command to identify the appropriate point of contact; and

L1:(vi) Use the following checklist as a guide to document consideration of each

L0:listed issue, as applicable, and retain a copy of the completed checklist in the contract

L0:file.

L0:CHECKLIST

L0:Verify that the requiring activity has considered the following when building its

L0:requirements package, as applicable:

L0:____ (1) Whether the contemplated acquisition will duplicate or otherwise conflict with

L0:existing work being performed or items already provided in the area, and whether

L0:economies of scope/schedule can be leveraged if there are already existing contracts in

L0:place for similar work or items.

L0:____ (2) The availability of technically qualified and properly trained Government

L0:civilian and/or military personnel to oversee the performance of the contract in the

L0:combatant commander's area of responsibility (e.g., contracting officer's

L0:representatives, quality assurance representatives, and property administrators).

L0:____ (3) The applicability of any international agreements to the acquisition. (Some

L0:agreements may be classified and must be handled appropriately.)

L0:____ (4) Compliance with area-specific, anti-terrorism security guidance set forth by the

L0:command anti-terrorism officer, to include soliciting anti-terrorism officer guidance on

L0:the particular requirement and the location of delivery and/or execution of services, and

L0:incorporating recommended security measures into the requirements package.

L0:____ (5) Whether there are any requirements for use of foreign currencies, including

L0:applicability of U.S. holdings of excess foreign currencies.

L0:____ (6) Information on taxes and duties from which the Government may be exempt.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:____ (7) If the acquisition requires performance of work in the foreign country, whether

L0:there are standards of conduct for the prospective contractor and, if so, the

L0:consequences for violation of such standards of conduct.

L0:____ (8) The availability of logistical and other Government-furnished support and

L0:equipment for contractor personnel. This includes, but is not limited to: berthing and

L0:messing; intra-theater transportation; medical support; morale, welfare, and recreation

L0:support; postal support; force protection support; organizational clothing and personal

L0:protective gear (e.g., body armor and gas masks.)

L0:____ (9) If the contractor will employ foreign workers, whether a waiver of the Defense

L0:Base Act will be required (see FAR 28.305).

L0:____ (10) Whether contractor personnel will need authorization to carry weapons for

L0:the performance of the contract.

L0:____ (11) If the contract will include the clause at DFARS 252.225-7040, Contractor

L0:Personnel Supporting U.S. Armed Forces Deployed Outside the United States, the
 L0:Government official authorized to receive DD Form 93, Record of Emergency Data
 L0:Card, to enable the contracting officer to provide that information to the contractor, as
 L0:required by paragraph (g) of the clause.

L0:____ (12) Ascertain the existence of and detail any Geographic Combatant
 L0:Commander?s (GCC?s)/Subordinate Joint Force Commander Combating Trafficking in
 L0:Persons Directives or Notices applying to Combating Trafficking in Persons (as required
 L0:by FAR 22.1703 for contracts performed outside the United States) that would require
 L0:the contracting officer to use Alternate I of the clause at FAR 52.222-50 detailing these
 L0:requirements. This information can be ascertained from review of content on the
 L0:cognizant Geographic Combatant Command Operational Contract Support webpage
 L0:referred to in (a)(iv) of this PGI section.

L0:____ (13) Other requirements associated with contractor personnel to include
 L0:deployment -related training, accountability (registration in Synchronized Pre-
 L0:deployment and Operational Tracker), medical and dental qualifications, theater
 L0:entrance and country clearance requirements.

L0:____ (14) Any other requirements of the website for the country in which the contract
 L0:will be performed or the designated operational area to which deliveries will be made.
 L0:Provide the following information to the applicable overseas contracting office (see PGI
 L0:225.770(a)(v)):

L0:____ (1) The solicitation number, the estimated dollar value of the acquisition, and a
 L0:brief description of the work to be performed or the items to be delivered.

L0:____ (2) Notice of contract award, including contract number, dollar value, and a brief
 L0:description of the work to be performed or the items to be delivered.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
 L0:Defense FAR Supplement (DFARS) Part 225

L0:____ (3) Any additional information requested by the applicable contracting office to
 L0:ensure full compliance with policies, procedures, and objectives of the applicable
 L0:country or designated operational area.

L1:(c) For work performed in Japan or Korea, U.S.-Japan or U.S.-Korea bilateral
 L0:agreements govern the status of contractors and employees, criminal jurisdiction, and
 L0:taxation. U.S. Forces Japan (USFJ) and U.S. Forces Korea (USFK) are sub-unified
 L0:commands of Pacific Command (PACOM). The PACOM Staff Judge Advocate contact
 L0:information is available at <https://www.pacom.mil/Contact/Directory/> or by clicking on
 L0:Staff Directory/Special Staff on the PACOM website. Links to USFJ and USFK
 L0:websites can be found at the PACOM website at
 L0:<https://www.pacom.mil/Resources/Useful-Links/> .

L1:(i) For work performed in Japan?

L1:(A) U.S.-Japan bilateral agreements govern the status of contractors and
 L0:employees, criminal jurisdiction, and taxation;

L1:(B) USFJ and component policy, as well as U.S.-Japan bilateral
 L0:agreements, govern logistic support and base privileges of contractor employees;

L1:(C) The Commander, USFJ, is primarily responsible for interpreting the
 L0:Status of Forces Agreement (SOFA) and local laws applicable to U.S. Forces in Japan
 L0:and for requirements in support of USFJ; and

L2:(D)(1) To ensure that the solicitation and resultant contract reflect an
L0:accurate description of available logistics support and application of the U.S.-Japan
L0:SOFA, review the information on Contract Performance in Japan at the USFJ website,
L0:<http://www.usfj.mil>; or
L1:(2) Contact the Staff Judge Advocate at (commercial) 011-81-3117-55-
L0:7717, or DSN 315-225-7717.
L1:(ii) For work performed in Korea?
L1:(A) U.S.-Korea bilateral agreements govern the status of contractors and
L0:employees, criminal jurisdiction, and taxation;
L1:(B) USFK and component policy, as well as U.S.-Korea bilateral
L0:agreements, govern logistics support and base privileges of contractor employees;
L1:(C) The Commander, USFK, is primarily responsible for interpreting the
L0:SOFA and local laws applicable to U.S. Forces in Korea and for requirements in support
L0:of USFK; and
L1:(D) To ensure that the solicitation and resultant contract reflect an accurate
L0:description of available logistics support and application of the U.S.-Korea SOFA,
L0:review the SOFA information found at the USFK website at <https://www.usfk.mil/> under
L0:“Publications?”, or at
L0:<https://www.usfk.mil/Portals/105/Documents/411%20CSB/1%20U.S.->
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
L0:Defense FAR Supplement (DFARS) Part 225
L0:ROK%20SOFA.PDF Contact information for the Commander is also available at
L0:<http://www.usfk.mil/usfk/leadership.aspx>; and
L1:(E) Additional applicable directives and regulations are available at
L0:<http://www.usfk.mil/> , click on the drop down menu for “Publications?”.
L1:(d) For work performed in specified countries in the USCENTCOM area of
L0:responsibility, follow theater business clearance/ contract administration delegation
L0:policy as set forth in OSD policy letters linked to this PGI, and specific theater business
L0:clearance/contract administration delegation instructions as implemented by
L0:USCENTCOM’s Joint Theater Support Contracting Command and found under
L0:contracting guidance at <https://www.acq.osd.mil/asda/dpc/cp/cc/aor.html> (click on
L0:CENTCOM area of responsibility).
L0:PGI 225.771 Contractor personnel supporting U.S. Armed Forces deployed
L0:outside the United States.
L1:(1) DoDI 3020.41, Operational Contract Support (OCS), establishes policy, assigns
L0:responsibilities and provides procedures for OCS, including OCS Program
L0:Management, contract support integration, and integration of defense contractor
L0:personnel into contingency operations outside the United States. This instruction
L0:serves as a comprehensive source of DoD policy and procedures concerning DoD
L0:contractor and subcontractor personnel supporting the U.S. Armed Forces deployed
L0:outside the United States.
L1:(2) Also see PGI 207.105(b)(20)(C)(9) for special considerations for acquisition
L0:planning for crisis situations outside the United States.
L0:PGI 225.771-2 Definitions.
L0:“Designated operational areas” include, but are not limited to, such descriptors as

L0:theater of war, theater of operations, joint operations area, amphibious objective area,
 L0:joint special operations area, and area of operations. See DoD Joint Publication 3-0,
 L0:Joint Operations, Chapter IV, Paragraph 1, "Understanding the Operational
 L0:Environment," at <https://jdeis.js.mil/jdeis/index.jsp?pindex=27&pubId=932#> .

L0:PGI 225.771-3 Government support.

L1:(a) Support that may be authorized or required when contractor personnel are
 L0:deployed with or otherwise provide support in the theater of operations to U.S. military
 L0:forces deployed outside the United States may include, but are not limited to?

L1:(i) Deployment in-processing centers;

L1:(ii) Training;

L1:(iii) Transportation to operation area;

L1:(iv) Transportation within operation area;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(v) Physical security;

L1:(vi) Force protection;

L1:(vii) Organizational clothing and individual equipment;

L1:(viii) Emergency medical care;

L1:(ix) Mess operations;

L1:(x) Quarters;

L1:(xi) Postal service;

L1:(xii) Phone service;

L1:(xiii) Emergency notification;

L1:(xiv) Laundry; and

L1:(xv) Religious services.

L1:(d) Medical support of contractor personnel.

L1:(1) Contractors are required to ensure that the Government is reimbursed for
 L0:any costs associated with medical or dental care provided to contractor employees
 L0:accompanying the forces (see 252.225-7040(c)(2)).

L1:(2) If questions arise concerning Defense Finance and Accounting Services
 L1:(DFAS) billing to contractors for medical or dental care provided, contracting officers
 L0:may refer the individual to any of the following resources:

L1:(i) For in-patient and out-patient billing rates, go to

L0:<http://comptroller.defense.gov/FinancialManagement/Reports/rates2013.aspx>, click on

L0:the appropriate fiscal year, and select Deployed/Non-Fixed Medical Facility Billing

L0:Rates.

L1:(ii) For Military Service-appointed points of contact (POCs) responsible for
 L0:resolving medical billing disputes, see the POCs listed in the memoranda of agreements
 L0:between DFAS and the military services).

L1:(iii) For general information on medical support of deployed contractor
 L0:personnel in applicable contingency operations, see DoDI 3020.41.

L1:(3) Contracting officers are not responsible for adjudicating DFAS bills to
 L0:contractors for such medical or dental reimbursement. However, contracting officers
 L0:are required to assist the Military Service POCs in resolving billing disputes.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(e) Letter of authorization.

L1:(i) If authorized by the contracting officer, a contracting officer's representative

L0:may approve a SPOT-generated LOA. Contractor travel orders will be prepared by the
L0:supporting installation.

L1:(ii) The LOA will state the intended length of assignment in the theater of

L0:operations and will identify planned use of Government facilities and privileges in the
L0:theater of operations, as authorized by the contract. Authorizations may include such
L0:privileges as access to the exchange facilities and the commissary, and use of
L0:Government messing and billeting. The LOA must include the name of the approving
L0:Government official.

L1:(iii) Approved, standard DoD format for LOA. See sample LOA, Business Rules

L0:for the Synchronized Predeployment and Operational Tracker, at

L0:<https://www.acq.osd.mil/asds/log/cso/ocs/spot.html> .

L0:PGI 225.771-5 Contract clauses.

L0:Performance, as used in Class Deviation 2017-O0004 Contractor Personnel

L0:Performing in the United States Central Command Area of Responsibility, means

L0:performance of a service or construction, as required by the contract. For supply
L0:contracts, production of the supplies or associated overhead functions are not covered
L0:by the Class Deviation, but services associated with the acquisition of the supplies are
L0:covered (e.g., installation or maintenance).

L1:(b) [Reserved]

L0:PGI 225.772 Antiterrorism/force protection.

L0:PGI 225.772-1 General.

L0:Information and guidance pertaining to DoD antiterrorism/force protection policy for

L0:contracts that require performance or travel outside the United States can be obtained

L0:from the following offices:

L1:(1) For Army contracts: HQDA-AT; telephone, DSN 222-9832 or commercial (703)

L0:692-9832.

L1:(2) For Navy contracts: Naval Criminal Investigative Service (NCIS), Code 21;

L0:telephone, DSN 288-9077 or commercial (202) 433-9077.

L1:(3) For Marine Corps contracts: CMC Code POS-10; telephone, DSN 224-4177 or

L0:commercial (703) 614-4177.

L1:(4) For Air Force and Combatant Command contracts: The appropriate

L0:Antiterrorism/Force Protection Office at the Command Headquarters.

L1:(5) For defense agency contracts: The appropriate agency security office.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(6) For additional information: Assistant Secretary of Defense for Special

L0:Operations and Low Intensity Conflict, ASD (SOLIC); telephone, DSN 227-7205 or

L0:commercial (703) 697-7205.

L0:PGI 225.773 Contract administration in support of contingency operations.

L1:(1) In accordance with Joint Publication 1, Doctrine for the Armed Forces of the

L0:United States, at <https://jdeis.js.mil/jdeis/index.jsp?pindex=27&pubId=930> , the

L0:geographic combatant commander or subordinate joint force commander, through his

L0:command authority to exercise operational control, has the authority to exercise control
 L0:over the assignment of contract administration during contingency operations,
 L0:consistent with the combat support agency's established mission functions,
 L0:responsibilities, and core competencies, for contracts requiring delivery of items or
 L0:performance within the area of operations.

L1:(2) In certain contingency operations, the combatant commander or joint force
 L0:commander may promulgate theater or joint operations area guidance for contracting
 L0:that may include establishing?

L1:(i) A contracting command and control structure;

L1:(ii) Head of contracting activity responsibilities, specific orders, and policies,
 L0:including local clauses;

L1:(iii) Roles and responsibilities of DoD components and supporting agencies in
 L0:contract formation and execution; and

L1:(iv) Procedures and requirements for contract clearance and contract
 L0:administration of contracts requiring delivery of items and performance within the area
 L0:of operations.

L1:(3) When a combat support agency is tasked by the combatant commander to
 L0:provide contingency contract administration services in support of contingency
 L0:operations and such support will be required for a long duration, the combat support
 L0:agency must initiate a memorandum of agreement with the combatant commander or
 L0:joint force commander. This agreement must clearly delineate the purpose of the
 L0:support, respective responsibilities of the combat support agency and the joint, lead
 L0:service, or service contracting activity requesting the support, combat support agency
 L0:support parameters, and a resolution process for resolving support issues.

L1:(i) The memorandum of agreement should focus on maximizing the combat
 L0:support agency's core competencies to address the more critical, complex, high-risk,
 L0:and specialized oversight requirements.

L1:(ii) The memorandum of agreement should take into consideration the combat
 L0:support agency's core competencies, workload priorities, and contract administration
 L0:services support parameters for accepting requests for contract administration services
 L0:support.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(iii) A combat support agency must not be assigned to perform tasks outside its
 L0:mission functions, responsibilities, or core competencies.

L1:(iv) Contracting officers contemplating requesting contract administration
 L0:support in a contingency area from a combat support agency should first ascertain
 L0:whether such a memorandum of agreement exists by contacting their combat support
 L0:agency point of contact and/or checking the combatant commander operational contract
 L0:support website (referenced in DFARS PGI 225.770).

L1:(v) The following is a notional format for a memorandum of agreement for
 L0:contract administration services support;

L1:(A) Purpose: Outline formal procedures for requesting contract

L0:administration services support, describe objectives associated with combat support

L0:agency providing such support.

L1:(B) Reference: Key documents or reference(s) associated with the
 L0:execution of the contract administration services support.

L1:(C) Clearing-house functions performed by the designated joint or lead
 L0:component contracting activity in the operational area-

L1:(1) Contract clearance parameters - when required;
 L1:(2) Contract delegation parameters - when required.

L1:(D) Contract administration services support parameters?
 L1:(1) Acceptable for delegation - contract types that will be accepted by
 L0:the combat support agency based on risk, dollar threshold, geographic dispersion of
 L0:performance, service type, criticality of acceptance, or other criteria;
 L1:(2) Generally not be delegated - below-threshold contract types;
 L1:(3) Will not be delegated - no agency expertise to oversee.

L1:(E) Delegation process - process for accepting and assigning contract
 L0:administration services tasks within the combat support agency.

L1:(F) Joint resolution process - procedures in the event of disagreement on
 L0:actions to be supported by the combat support agency.

L1:(G) Term of the Agreement and Modification - length of time the agreement
 L0:will be in effect and procedures for the parties to modify or terminate it.

L1:(4) Disputes regarding requested support should be resolved at the lowest
 L0:management level possible, through a predetermined resolution process. When
 L0:support issues arise that affect the ability of a combat support agency to provide
 L0:contract administration support that cannot be resolved at lower management levels,
 L0:follow procedures set forth in DoDI 3000.06, Combat Support Agencies, paragraphs
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25
 L0:Defense FAR Supplement (DFARS) Part 225
 L0:5.6.8 and 5.6.9,
 L0:(<https://www.esd.whs.mil/Portals/54/Documents/DD/issuances/dodd/300006p.pdf>).

L1:(5) Responsibilities of the head of the contracting activity for contingency contract
 L0:closeout are addressed at DFARS 204.804(2). See also planning considerations at PGI
 L0:207.105(b)(20)(C)(8).

L0:PGI 225.8?OTHER INTERNATIONAL AGREEMENTS AND COORDINATION

L0:PGI 225.802 Procedures.

L1:(b) Information on specific memoranda of understanding and other international
 L0:agreements is available as follows:

L1:(i) Memoranda of understanding and other international agreements between the
 L0:United States and the countries listed in DFARS 225.872-1 are maintained in the Office of
 L0:the Principal Director, Defense Pricing, Contracting, and Acquisition Policy (Contract Policy)
 L0:and are available at [https://www.acq.osd.mil/asda/dpc/cp/ic/reciprocal-procurement-](https://www.acq.osd.mil/asda/dpc/cp/ic/reciprocal-procurement-mou.html)
 L0:mou.html.

L1:(ii) Military Assistance Advisory Groups, Naval Missions, and Joint U.S. Military Aid
 L0:Groups normally have copies of the agreements applicable to the countries concerned.

L1:(iii) Copies of international agreements covering the United Kingdom of Great
 L0:Britain and Northern Ireland, Western European countries, North Africa, and the Middle East
 L0:are filed with the U.S. European Command.

L1:(iv) Agreements with countries in the Pacific and Far East are filed with the U.S.

L0:Pacific Command.

L0:PGI 225.802-70 Contracts for performance outside the United States and Canada.

L0:When a contracting office anticipates placement of a contract for performance outside the

L0:United States and Canada, and the contracting office is not under the jurisdiction of a

L0:command for the country involved, the contracting office must maintain liaison with the

L0:cognizant contract administration office (CAO) during preaward negotiations and postaward

L0:administration. The cognizant CAO can be found at [https://www.dcm.mil/About/Contact-](https://www.dcm.mil/About/Contact-Us/)

L0:Us/. The CAO will provide pertinent information for contract negotiations, effect appropriate

L0:coordination, and obtain required approvals for the performance of the contract.

L0:PGI 225.870 Contracting with Canadian contractors.

L0:PGI 225.870-1 General.

L2:(d)(i) The Canadian Commercial Corporation uses provisions in contracts with Canadian

L0:or U.S. concerns that give DoD the same production rights, data, and information that DoD

L0:would obtain in contracts with U.S. concerns.

L1:(ii) The Government of Canada will provide the following services under contracts

L0:with the Canadian Commercial Corporation without charge to DoD:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(A) Contract administration services, including?

L1:(1) Cost and price analysis;

L1:(2) Industrial security;

L1:(3) Accountability and disposal of Government property;

L1:(4) Production expediting;

L1:(5) Compliance with Canadian labor laws;

L1:(6) Processing of termination claims and disposal of termination inventory;

L1:(7) Customs documentation;

L1:(8) Processing of disputes and appeals; and

L1:(9) Such other related contract administration functions as may be required

L0:with respect to the Canadian Commercial Corporation contract with the Canadian supplier.

L1:(B) Audits. The Public Works and Government Services Canada (PWGSC)

L0:performs audits when needed, for contracts overseen by the Canadian Commercial

L0:Corporation in accordance with international agreement.

L1:(C) Inspection. The Department of National Defence (Canada) provides

L0:inspection personnel, services, and facilities, at no charge to DoD departments and

L0:agencies (see DFARS 225.870-7).

L1:(iii) In accordance with DPAP Policy Memorandum dated June 5, 2013, PWGSC

L0:will perform audits without charge to DoD, including accounting system and interim voucher

L0:reviews, when needed for?

L1:(A) DoD contracts awarded directly to Canadian firms;

L1:(B) Subcontracts with Canadian firms under such direct contracts with

L0:Canadian firms; and

L1:(C) Subcontracts with Canadian firms under DoD contracts with U.S.

L0:contractors.

L0:PGI 225.870-5 Contract administration.

L1:(1) Assign contract administration in accordance with DFARS part 242. When the

L0:Defense Contract Management Agency will perform contract administration in Canada,

L0:name in the contract the following payment office for disbursement of DoD funds (DoD

L0:Department Code: 17-Navy; 21-Army; 57-Air Force; 97-all other DoD components),

L0:whether payment is in Canadian or U.S. dollars:

L0:DFAS Columbus Center

L0:DFAS-CO

L0:PO Box 182317

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Columbus, OH 43218-2317.

L1:(2) The following procedures apply to cost-reimbursement type contracts:

L1:(i) The PWGSC automatically arranges audits on contracts with the Canadian

L0:Commercial Corporation. Upon advice from PWGSC, the Canadian Commercial

L0:Corporation certifies the invoice and forwards it with Standard Form (SF) 1034, Public

L0:Voucher, to the administrative contracting officer for further processing and transmittal to the

L0:disbursing office.

L1:(ii) For contracts placed directly with Canadian firms, the administrative contracting

L0:officer requests audits from the PWGSC, Ottawa, Ontario, Canada. Route requests for

L0:audit of non-Canadian Commercial Corporation contracts and subcontracts with Canadian

L0:contractors through the cognizant contract management office of the Defense Contract

L0:Management Agency.

L1:(A) Within 25 days of the date of the audit request, PWGSC will provide?

L1:(1) An acknowledgement of receipt form;

L1:(2) An estimate of completion form; and

L0:progress of audits.

L1:(3) A single point of contact to report the status of audit requests and the

L1:(B) Audits will be completed within 24 months of the requested date for post-

L0:award audits.

L1:(C) PWGSC will provide information to support the determination that the price

L0:is fair and reasonable.

L1:(D) The PWGSC?

L0:contract and final audit;

L1:(1) Approves invoices on a provisional basis pending completion of the

L1:(2) Forwards these invoices, accompanied by SF 1034, Public Voucher, to

L0:the administrative contracting officer for further processing and transmittal to the disbursing

L0:officer; and

L0:contracting officer.

L1:(3) Furnishes periodic advisory audit reports directly to the administrative

L1:(A) Approves invoices on a provisional basis pending completion of the contract

L0:and final audit;

L1:(B) Forwards these invoices, accompanied by SF 1034, Public Voucher, to the

L0:administrative contracting officer for further processing and transmittal to the disbursing

L0:officer; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(C) Furnishes periodic advisory audit reports directly to the administrative

L0:contracting officer.

L0:PGI 225.870-7 Acceptance of Canadian supplies.

L1:(1) For contracts placed in Canada, either with the Canadian Commercial Corporation or

L0:directly with Canadian suppliers, the Department of National Defence (Canada) will perform

L0:any necessary contract quality assurance and/or acceptance, as applicable.

L1:(2) Signature by the Department of National Defence (Canada) quality assurance

L0:representative on the DoD inspection and acceptance form is satisfactory evidence of

L0:acceptance for payment purposes.

L0:PGI 225.871 North Atlantic Treaty Organization (NATO) cooperative projects.

L0:PGI 225.871-4 Statutory waivers.

L0:Forward any request for waiver under a cooperative project to the Deputy Secretary of

L0:Defense, through the Principal Director, Defense Pricing, Contracting, and Acquisition Policy.

L0:The waiver request must include a draft Determination and Findings for signature by the

L0:Deputy Secretary of Defense establishing that the waiver is necessary to significantly further

L0:NATO standardization, rationalization, and interoperability.

L0:PGI 225.871-5 Directed subcontracting.

L0:The cooperative project agreement is the authority for a contractual provision requiring the

L0:contractor to place certain subcontracts with particular subcontractors. No separate

L0:justification and approval during the acquisition process is required.

L0:PGI 225.872 Contracting with qualifying country sources.

L0:PGI 225.872-4 Individual determinations.

L1:(1) Obtain signature of the determination and findings?

L1:(i) At a level above the contracting officer, for acquisitions valued at or below the

L0:simplified acquisition threshold; or

L1:(ii) By the chief of the contracting office, for acquisitions with a value greater than

L0:the simplified acquisition threshold.

L1:(2) Prepare the determination and findings substantially as follows:

L0:SERVICE OR AGENCY

L0:Exemption of the Buy American and Balance of Payments Program

L0:Determination and Findings

L0:Upon the basis of the following findings and determination which I hereby make in

L0:accordance with the provisions of FAR 25.103(a), the acquisition of a qualifying country end

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:product may be made as follows:

L0:Findings

L0:1. The (contracting office) proposes to purchase under contract number

L0:_____, (describe item) mined, produced, or manufactured in (qualifying

L0:country of origin). The total estimated cost of this acquisition is _____.

L0:2. The United States Government and the Government of _____ have agreed to

L0:remove barriers to procurement at the prime and subcontract level for defense equipment

L0:produced in each other's countries insofar as laws and regulations permit.

L0:3. The agreement provides that the Department of Defense will evaluate competitive offers

L0:of qualifying country end products mined, produced, or manufactured in (qualifying country)

L0:without imposing any price differential under the Buy American statute or the Balance of Payments Program and without taking applicable U.S. customs and duties into consideration so that such items may better compete for sales of defense equipment to the Department of Defense. In addition, the Agreement stipulates that acquisitions of such items must fully satisfy Department of Defense requirements for performance, quality, and delivery and must cost the Department of Defense no more than would comparable U.S. source or other foreign source defense equipment eligible for award.

L0:4. To achieve the foregoing objectives, the solicitation contained the clause (title and number of the Buy American clause contained in the contract). Offers were solicited from other sources and the offer received from (offeror) is found to be otherwise eligible for award.

L0:Determination

L0:I hereby determine that it is inconsistent with the public interest to apply the restrictions of the Buy American statute or the Balance of Payments Program to the offer described in this determination and findings.

L1:(Date)

L0:PGI 225.872-5 Contract administration.

L2:(b)(i) When contract administration services are required on contracts to be performed in qualifying countries, direct the request to the cognizant activity listed in the Federal Directory of Contract Administration Services. The cognizant activity also will arrange contract administration services for DoD subcontracts that qualifying country sources place in the United States.

L1:(ii) The contract administration activity receiving a delegation must determine whether any portions of the delegation are covered by memoranda of understanding annexes and, if so, must delegate those functions to the appropriate organization in the qualifying country's government.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:PGI 225.872-6 Request for audit services.

L1:(1) Send requests for audit services in France, Germany, the Netherlands, or the United Kingdom to the administrative contracting officer at the cognizant activity listed in Section 2B of the Federal Directory of Contract Administration Services. See DFARS 225.870, PGI 225.870-1, and PGI 225.870-5 for procedures to request audit services for contracts overseen by the Canadian Commercial Corporation.

L1:(2) Complete requests for audit services in France, Germany, the Netherlands, or the United Kingdom using the form and information sheet with form completion instructions available at <https://www.dcma.mil/About/Contact-Us/> (click on ?International Command?). Links to the form and information sheet are listed under ?International Pricing Request.?

L0:PGI 225.873 Waiver of United Kingdom commercial exploitation levies.

L0:PGI 225.873-2 Procedures.

L1:(1) The Government of the U.K. must approve waiver of U.K. levies. When an offeror or contractor identifies a levy included in an offered or contract price, provide written notification to the Defense Security Cooperation Agency, ATTN: PSD-PMD, 1111 Jefferson Davis Highway, Arlington, VA 22202-4306, telephone (703) 601-3864. The Defense Security Cooperation Agency will request a waiver of the levy from the Government of the U.K. The

L0:notification must include?

L1:(i) Name of the U.K. firm;

L1:(ii) Prime contract number;

L1:(iii) Description of item for which waiver is being sought;

L1:(iv) Quantity being acquired; and

L1:(v) Amount of levy.

L1:(2) Waiver may occur after contract award. If levies are waived before contract award,

L0:evaluate the offer without the levy. If levies are identified but not waived before contract

L0:award, evaluate the offer inclusive of the levies.

L0:PGI 225.9?CUSTOMS AND DUTIES

L0:PGI 225.902 Procedures.

L1:(1) Formal entry and release.

L1:(i) The administrative contracting officer must?

L1:(A) Ensure that contractors are aware of and understand any Duty-Free Entry

L0:clause requirements. Contractors should understand that failure by them or their

L0:subcontractors to provide the data required by the clause will result in treatment of the

L0:shipment as without benefit of free entry under Section XXII, Chapter 98, Subchapter VIII,

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Item 9808.00.30 of the Harmonized Tariff Schedule of the United States.

L1:(B) Upon receipt of the required notice of purchase of foreign supplies from the

L0:contractor or any tier subcontractor?

L0:and

L1:(1) Verify the duty-free entitlement of supplies entering under the contract;

L0:requires the foreign supplies (quantity and price) identified in the notice.

L1:(2) Review the prime contract to ensure that performance of the contract

L1:(C) Within 20 days after receiving the notification of purchase of foreign

L0:supplies, forward the following information in the format indicated to the Commander, DCMA

L0:New York, ATTN: Customs Team, DCMAE-GNTF, 201 Varick Street, Room 905C, New

L0:York, NY 10014:

L0:We have received a contractor notification of the purchase of foreign

L0:supplies. I have verified that foreign supplies are required for the

L0:performance of the contract.

L0:PGI 225.903 Exempted supplies.

L2:(b)(i) The term ?supplies??

L1:(A) Includes--

L1:(1) Articles known as ?stores,? such as food, medicines, and toiletries; and

L1:(2) All consumable articles necessary and appropriate for the propulsion,

L0:operation, and maintenance of the vessel or aircraft, such as fuel, oil, gasoline, grease,

L0:paint, cleansing compounds, solvents, wiping rags, and polishes; and

L1:(B) Does not include portable articles necessary and appropriate for the

L0:navigation, operation, or maintenance of the vessel or aircraft and for the comfort and safety

L0:of the persons on board, such as rope, bolts and nuts, bedding, china and cutlery, which are

L0:included in the term ?equipment.?

L1:(ii) Format for duty-free certificate.

L0: _____

L1:(Date)

L0:I certify that the acquisition of this material constituted a purchase of

L0:supplies by the United States for vessels or aircraft operated by the United

L0:States, and is admissible free of duty pursuant to 19 U.S.C. 1309.

L1:(Name)

L1:(Title)

L1:(Organization)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:PGI 225.70?AUTHORIZATION ACTS, APPROPRIATIONS ACTS, AND OTHER

L0:STATUTORY RESTRICTIONS ON FOREIGN ACQUISITION

L0:PGI 225.7002 Restrictions on food, clothing, fabrics, and hand or measuring tools.

L0:PGI 225.7002-1 Restrictions.

L4:(a)(1)(ii)(1) The following are examples, not all-inclusive, of Product and Service

L0:Codes (PSCs) that contain items of clothing:

L0:footwear, hosiery, or handwear) listed in PSC 8405, 8410, 8415, 8420, 8425, 8450, or 8475.

L1:(i) Clothing apparel (such as outerwear, headwear, underwear, nightwear,

L1:(ii) Footwear listed in PSC 8430 or 8435.

L0:suspenders, listed in PSC 8440 or 8445.

L1:(iii) Hosiery, handwear, or other items of clothing apparel, such as belts and

L1:(iv) Badges or insignia listed in PSC 8455.

L1:(2) The PSCs listed in paragraph (a)(1)(ii)(1) of this section also contain items

L0:that are not clothing, such as?

L1:(i) Visors;

L1:(ii) Kevlar helmets;

L1:(iii) Handbags; and

L1:(iv) Plastic identification tags.

L1:(3) Each item should be individually analyzed to determine if it is clothing, rather

L0:than relying on the PSC alone to make that determination.

L1:(4) The fact that an item is excluded from the foreign source restriction of the

L0:Berry Amendment applicable to clothing does not preclude application of another Berry

L0:Amendment restriction in DFARS 225.7002-1 to the components of the item.

L1:(5) Small arms protective inserts (SAPI plates) are an example of items added

L0:to, and not normally associated with, clothing. Therefore, SAPI plates are not covered

L0:under the Berry Amendment as clothing. However, fabrics used in the SAPI plate are

L0:still subject to the foreign source restrictions of the Berry Amendment. If the fabric used

L0:in the SAPI plate is a synthetic fabric or a coated synthetic fabric, the fibers and yarns

L0:used in the fabric are not covered by the Berry Amendment, because the fabric is a

L0:component of an end product that is not a textile product (see DFARS 225.7002-2(m)).

L0:Example: A SAPI plate is compliant with the Berry Amendment if the synthetic fiber or

L0:yarn is obtained from foreign country X and woven into synthetic fabric in the United States,

L0:which is then incorporated into a SAPI plate manufactured in foreign country Y.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) Hand or measuring tools.

L1:(A) As applied to hand or measuring tools, "produced in the United States" means

L0:that the hand or measuring tool was assembled in the United States out of components, or

L0:otherwise made from raw materials into the finished product that is to be provided to the

L0:Government.

L1:(B) If a hand or measuring tool was assembled in a country other than the United

L0:States, then disassembled and reassembled in the United States, the hand or measuring

L0:tool was not produced in the United States.

L1:(C) The requirement to buy hand or measuring tools produced in the United States

L0:does not impose any restriction on the source of the components of the hand or measuring

L0:tools. This is unlike the Berry Amendment restriction on clothing (see 225.7002-1(a)(1)(ii)),

L0:which explicitly requires domestic source for the materials and components of clothing (other

L0:than unusual components such as sensors or electronics), as well as the additional separate

L0:restrictions on various types of fibers and fabrics that might be components of the clothing.

L1:(D) If the acquisition of the hand or measuring tools is also subject to the Buy

L0:American statute (see FAR subpart 25.1), then in order to qualify as a domestic end product,

L0:the cost of the components mined, produced, or manufactured in the United States or a

L0:qualifying country, must exceed 50 percent of the cost of all the components of the hand or

L0:measuring tool.

L0:PGI 225.7002-2 Exceptions.

L1:(b) Domestic nonavailability determinations.

L1:(3) Defense agencies other than the Defense Logistics Agency.

L1:(A) A defense agency requesting a domestic nonavailability determination must

L0:submit the request, including the proposed determination, to?

L0:Principal Director, Defense Pricing, Contracting, and Acquisition Policy

L0:ATTN: OUSD(A&S) DPCAP/CP

L0:3060 Defense Pentagon

L0:Washington, DC 20301-3060.

L1:(B) The Principal Director, Defense Pricing, Contracting, and Acquisition Policy,

L0:will forward the request to the Under Secretary of Defense (Acquisition and Sustainment)

L0:(USD(A&S)) as appropriate.

L0:PGI 225.7003 Restrictions on acquisition of specialty metals.

L0:PGI 225.7003-2 Restrictions.

L2:(a)(i) This restriction applies to the item containing the specialty metal, not just the

L0:specialty metal, as was true when the restriction was part of 10 U.S.C. 4862. The previous

L0:practice of withholding payment while conditionally accepting noncompliant items is not

L0:permissible for?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(A) Contracts entered into on or after November 16, 2006; or

L1:(B) New procurements or out-of-scope changes accomplished on or after

L0:November 16, 2006, through the use of bilateral modifications to contracts originally

L0:awarded prior to November 16, 2006.

L1:(ii) Consistent with the definition of "component" in the clause at DFARS 252.225-

L0:7009, a component is any item supplied to the Government as part of an end item or of L0:another component. Items that are not incorporated into any of the items listed in DFARS L0:225.7003-2(a) are not components of those items. For example, test equipment, ground L0:support equipment, or shipping containers are not components of the missile system.

L0:PGI 225.7003-3 Exceptions.

L2:(b)(2) Report of COTS items.

L0:If a department or agency uses the exception at DFARS 225.7003-3(b)(2) for an L0:acquisition of COTS end items valued at \$5 million or more per item, the department or L0:agency must address use of the exception in a year-end report, to be prepared and L0:submitted as follows:

L1:(A) Entitle the report "COTS Specialty Metal Exceptions Granted During Fiscal L0:Year ____."

L1:(B) For each excepted COTS item purchased during the fiscal year, include in L0:the report, at a minimum, the applicable?

L1:(1) Contract number and any applicable delivery order number;

L1:(2) Dollar value; and

L1:(3) Item description.

L1:(C) Submit the report by October 31 of each year to:

L0:Principal Director, Defense Pricing, Contracting, and Acquisition Policy

L0:ATTN: OUSD(A&S) DPCAP/CP

L0:3060 Defense Pentagon

L0:Washington, DC 20301-3060.

L1:(4) For samarium-cobalt magnets contained in an item listed in 225.7003-2(a)

L0:manufactured in a qualifying country, see paragraph (b)(6)(C) of this section.

L1:(5) Domestic specialty metals nonavailable as and when needed.

L1:(A) Determining availability.

L0:services at fair and reasonable prices. Thus, contracting officers must determine whether

L1:(1) FAR 15.402 requires that contracting officers purchase supplies and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:any increase in contract price that results from providing compliant specialty metal is fair and

L0:reasonable, given the circumstances of the particular situation. In those cases where the

L0:contracting officer determines that the price would not be fair and reasonable, the Secretary

L0:of the military department concerned may use that information in determining whether the

L0:unreasonable price causes the compliant metal to be effectively "nonavailable." Where

L0:these "reasonableness" limits should be drawn is a case-by-case decision.

L1:(2) A similar approach may be used to determine whether delays

L0:associated with incorporating compliant specialty metals into items being acquired results in

L0:the metals being effectively nonavailable.

L2:(B)(1) A department or agency requesting a determination or approval from

L0:USD(A&S) in accordance with DFARS 225.7003-3(b)(5) must submit the request, including

L0:the proposed determination, to?

L0:Principal Director, Defense Pricing, Contracting, and Acquisition Policy

L0:ATTN: OUSD(A&S) DPCAP/CP

L0:3060 Defense Pentagon

L0:Washington, DC 20301-3060.

L0:Policy (DPCAP), will forward the request to USD(A&S) as appropriate.

L1:(2) The Principal Director, Defense Pricing, Contracting, and Acquisition

L1:(C) For domestic nonavailability determinations with regard to samarium-cobalt

L0:high performance magnets, see paragraph (b)(6)(D) of this section.

L1:(6) Application of specialty metals restrictions to magnets.

L1:(A) The two most common types of high performance magnets are

L0:samarium-cobalt magnets and neodymium-iron-boron magnets. Only samarium-cobalt

L0:magnets contain specialty metals and are subject to the restrictions of 10 U.S.C. 4863

L0:in this section, as well as the restrictions of 10 U.S.C. 4872 at 225.7018. Neodymium-

L0:iron-boron magnets are only subject to the restrictions of 10 U.S.C. 4872 at 225.7018,

L0:because they do not contain specialty metals. There are no other commonly used

L0:magnets that contain specialty metals.

L1:(B) Table.

L0:HPM = High performance magnet

L0:COTS = Commercially available off-the-shelf

L0:SmCo = Samarium Cobalt

L0:Magnet made of specialty metal is:

L0:Commercially available,

L0:SmCo HPM

L0:Incorporated into COTS subsystem

L0:or COTS end item

L0:NOT incorporated into COTS

L0:subsystem or COTS end item

L0:NOT restricted

L0:Restricted

L0:NOT Commercially

L0:available,

L0:SmCo HPM

L0:*

L0:Restricted

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:Included in 2 percent minimum

L0:content?

L0:Cannot be included in

L0:2 percent minimum content

L0:Cannot be included in 2

L0:percent minimum

L0:content

L0:* By definition, COTS assemblies and COTS end items will not include a HPM that is not

L0:commercially available.

L1:(C) Samarium-cobalt magnets contained in an item manufactured in a

L0:qualifying country are still subject to the requirements of 10 U.S.C. 4872, because there is

L0:no exception in 10 U.S.C. 4872 for items manufactured in a qualifying country comparable

L0:to the exception at 225.7003-3(b)(4) to the specialty metal restrictions of 10 U.S.C. 4863.

L1:(D) Even if samarium-cobalt magnets are determined to be domestically

L0:nonavailable under this section, the restrictions of 10 U.S.C. 4872 still apply unless

L0:samarium-cobalt magnets melted or produced outside a covered country are also

L0:determined to be nonavailable in accordance with 225.7018-4.

L1:(c) Compliance for commercial derivative military articles.

L1:(i) A department or agency requesting a determination or approval from USD(A&S)

L0:in accordance with DFARS 225.7003-3(c) must submit the request, including the proposed

L0:determination, to?

L0:Principal Director, Defense Pricing, Contracting, and Acquisition Policy

L0:ATTN: OUSD(A&S) DPCAP/CP

L0:3060 Defense Pentagon

L0:Washington, DC 20301-3060.

L1:(ii) The Principal Director, DPCAP, will forward the request to USD(A&S) as

L0:appropriate.

L1:(d) National security waiver.

L1:(i) A department or agency must request a national security waiver of the

L0:restrictions of 10 U.S.C. 4863 from USD(A&S) in accordance with DFARS 225.7003-3(d) in

L0:a timely manner after discovering or being informed of a specialty metals noncompliance in

L0:an item, or component thereof, listed at 225.7003-2(a) and covered by 10 U.S.C. 4863. The

L0:department or agency must submit the request, via the chain of command, including the

L0:draft determination and draft letters of notification to the congressional defense committees,

L0:as follows:

L0:Principal Director, Defense Pricing, Contracting, and Acquisition Policy

L0:ATTN: OUSD(A&S) DPCAP/CP

L0:3060 Defense Pentagon

L0:Washington, DC 20301-3060.

L1:(ii) The request must include?

L1:(A) The quantity of end items to which the waiver would apply;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(B) The time period that the waiver will cover;

L1:(C) How and when the noncompliance was discovered?

L1:(1) By the subcontractor(s);

L1:(2) By the contractor; and

L1:(3) By the department or agency;

L1:(D) A complete description of all of the items or systems containing

L0:noncompliant specialty metals;

L1:(E) The contract number(s), date(s), duration, and subcontractor(s) associated

L0:with the noncompliance;

L1:(F) The manufacturer and country of origin of the noncompliant material, if

L0:known;

L1:(G) Whether the contractor flowed down the DFARS clause to the

L0:subcontractors and in what format (e.g., exact quote or substantially the same?);

L1:(H) A technical description of the affected parts, their role in the larger assembly,

L0:and their function in the end item;

L1:(I) Estimated cost and schedule to replace noncompliant parts if a national

L0:security waiver is not granted;

L1:(J) Operational and safety implications;

L1:(K) Other national security considerations (such as how the requested waiver

L0:will contribute to national security policy or operational security);

L1:(L) A description of the contractor's efforts to develop and implement a

L0:corrective plan to ensure future compliance; and

L1:(M) Information helpful to a determination as to whether any noncompliance

L0:was knowing and willful.

L1:(iii) The Director, Defense Procurement and Acquisition Policy, will forward the

L0:request to USD(AT&L) as appropriate.

L0:PGI 225.7018 Restriction on acquisition of certain magnets, tantalum, and tungsten.

L0:PGI 225.7018-3 Exceptions.

L2:(c)(1) Commercially available off-the-shelf samarium-cobalt magnets are still subject to

L0:the restrictions of 10 U.S.C. 4863 unless incorporated into commercially available off-the-

L0:shelf end items or subsystems (see 225.7003-3(b)(2)(i)(C)).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L1:(2) A samarium-cobalt magnet that is exempt from 10 U.S.C. 4872 because it is

L0:incorporated in an electronic device is still subject to the restrictions of 10 U.S.C. 4863,

L0:because the exemption under that statute applies to "electronic component," which excludes

L0:any high performance magnet used in the electronic component (see definition of "electronic

L0:component" at 225.7003-1).

L0:PGI 225.7018-4 Nonavailability determination.

L1:(a) Individual nonavailability determinations.

L1:(2) Contracting officers may use the following template for individual nonavailability

L0:determinations under this section:

L0:PROGRAM, ITEM, OR PART DESCRIPTION:

L0:CONTRACT OR SOLICITATION NUMBER:

L0:BACKGROUND: Per the requirements of 10 U.S.C. 4872, DFARS 252.225-7052 prohibits

L0:acquisition of samarium-cobalt magnets, neodymium-iron-boron magnets, tantalum metal and alloys,

L0:tungsten metal powder, and tungsten heavy alloy or any finished or semi-finished component

L0:containing tungsten heavy alloy melted or produced in North Korea, China, Russia, and Iran.

L0:Per DFARS 225.7018-4, the Head of Contracting Activity (HCA) can authorize an exception to

L0:DFARS 252.225-7052 through an "Individual Nonavailability Determination" if they determine that

L0:covered materials of satisfactory quality and quantity, in the required form, cannot be procured as and

L0:when needed at a reasonable price from a source other than a covered country.

L0:ANALYSIS OF ALTERNATIVES:

L0:See Attachment A for an analysis of why alternatives that would not require a nonavailability

L0:determination are unacceptable.

L0:CERTIFICATION: Based on the satisfactory quality, quantity, required form, timeliness, and/or

L0:reasonable price issues described in Attachment A, I hereby certify that the requirements for an
L0:individual nonavailability determination under DFARS 225.7018-4 have been met.

L0: _____

L0:Signature of Government Contracting Officer or Program Representative

L0:Date

L0:Official Action on Request: ___ Approved ___ Disapproved [If disapproved, give reason.]

L0:Signature of Head of Contracting Activity

L0: _____

L0:Date

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:ATTACHMENT A: Analysis of Alternatives Required for an Individual Nonavailability Determination

L0:as per DFARS 225.7018-4

L0:PART A: Data on Alternative Sources. [Can be completed either by Government or Contractor.]

L0:1. Detailed information on current or proposed non-compliant DFARS 225.7018 source(s).

L0:COMPONENT

L0:COVERED

L0:CURRENT

L0:COUNTRY

L0:NAME

L0:MATERIAL

L0:MANUFACTURER(S)

L0:OF ORIGIN

L0:MATERIAL

L0:DELIVERY

L0:SPECIFICATION

L0:DATE AND

L0:OR GRADE

L0:LEAD TIME

L0:QUANTITY

L0:REQUIRED

L0:PRICE

L0:PER

L0:UNIT

L0:TOTAL

L0:PRICE

L0:ITEM #

L0:1

L0:2. Detailed market research conducted on alternative compliant DFARS 225.7018 source(s).

L0:POTENTIAL

L0:PROPOSE

L0:D

L0:ITEM #

L0:COVERED

L0:ALTERNATIVE

L0:COUNTRY

L0:MATERIAL

L0:MATERIAL

L0:MANUFACTURE

L0:OF ORIGIN

L0:SPECIFICA

L0:R(S)

L0:TION OR

L0:GRADE

L0:1

L0:DELIVERY

L0:QUANTITY

L0:PRICE

L0:DATE AND

L0:PROPOSE

L0:LEAD TIME

L0:D

L0:PER

L0:UNIT

L0:TOTAL

L0:PRICE

L0:RE-

L0:DESIGN

L0:OR RE-

L0:QUALIFICA

L0:TION COST

L0:RE-

L0:DESIGN

L0:OR RE-

L0:QUALIFICA

L0:TION COST

L0:TIMELINE

L0:3. Other pertinent information regarding the need for a nonavailability determination based on
L0:satisfactory quality, quantity, required form, timeliness, and/or reasonable price:

L0:_____

L0:_____

L0:_____

L0:_____

L0:PART B: Analysis of Alternatives?Must be completed by a Government Representative

L0:I have verified the information in Part A and a nonavailability determination is requested for the

L0:following reason(s):

L0:COVERED

L0:MATERIAL

L0:NON-

L0:INSUFFICIENT

L0:SATISFACTORY

L0:AVAILABLE

L0:QUALITY

L0:QUANTITY

L0:DOES NOT

L0:DOES NOT MEET

L0:UNREASONABLE

L0:MET

L0:TIMELINESS

L0:UNREASONABLE

L0:PRICE FOR RE-

L0:REQUIRED

L0:REQUIREMENTS FOR

L0:PRICE PER UNIT

L0:DESIGN OR RE-

L0:FORM

L0:PROGRAM/CUSTOMER

L0:QUALIFICATION

L0:ITEM #

L0:1

L0:Signature of Government Contracting Officer or Program Representative

L0: _____

L0: _____

L0>Date:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:ATTACHMENT B: Definitions and Instructions

L0:As used in this document?

L0:?

L0:?

L0:?

L0:?

L0:?

L0:?

L0:?'Number?' means the National Stock Number (NSN) or other part number applicable to a

L0:given component name;

L0:Component name? includes a description of the part and the name of the end item

L0:incorporating that part (e.g., ?Actuator - Joint Direct Attack Munition? or ?Sphere - M1028

L0:Canister CTG?);

L0:Covered material? means samarium-cobalt magnets, neodymium-iron-boron magnets,

L0:tantalum metal and alloys, tungsten metal powder, and tungsten heavy alloy or any finished /

L0:semi-finished component containing tungsten heavy alloy;

L0:Tungsten heavy alloy? means a tungsten base pseudo alloy that (1) meets the specifications

L0:of ASTM B777 or SAE-AMS-T-21014 for a particular class of tungsten heavy alloy or (2)

L0:contains at least 90% tungsten in a matrix of other metals (such as nickel-iron or nickel-

L0:copper) and has a density of at least 16.5 g/cm³

L0:Current manufacturer? means the entity that produces the covered material;

L0:Country of origin? means the location of the facility in which the current manufacturer

L0:produces the covered material;

L0:Delivery date and lead time? includes (1) the date by which the covered material is required to

L0:produce the component name and (2) the administrative lead time and procurement lead

L0:time required by the manufacturer of the component name, to secure appropriate covered

L0:material; and

L0:Price per unit? means the unit price of the covered material;

L0:?

L0:For any determination under ?Part B?, the Head of Contracting Activity is required to produce a

L0:separate report describing why a particular exception is applicable to a given action.

L1:(3) Provide a copy of signed individual nonavailability determination and supporting

L0:documentation or notification when an individual waiver is requested, but denied to:

L0:OUSD(A&S)

L0:DASD, Industrial Policy

L0:U.S. Department of Defense

L0:3330 Defense Pentagon, Room 3B854

L0:Washington, DC 20301-3330

L2:(b)(i) When requesting a class nonavailability determination, submit the request, including the

L0:proposed determination, to?

L0:Principal Director, Defense Pricing, Contracting, and Acquisition Policy

L0:ATTN: OUSD(A&S) DPCAP/CP

L0:3060 Defense Pentagon

L0:Washington, DC 20301-3060.

L1:(ii) The Principal Director, DPCAP, will forward the request to the Under Secretary of

L0:Defense (Acquisition and Sustainment) (USD(A&S)) as appropriate.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 25

L0:Defense FAR Supplement (DFARS) Part 225

L0:PGI 225.7019-3 Waiver.

L1:(a) The following are factors to take into consideration for granting a waiver:

L1:(1) The energy supply system is physically incapable of segregating Russian

L0:Federation energy from non-Russian Federation energy.

L1:(2) The installation can only obtain the necessary energy from its current supplier

L0:without the unaffordable expense of constructing new supply lines.

L1:(3) The price of requiring the supplier to segregate the energy is unaffordable and

L0:would result in the installation being unable to perform its mission within its budget authority.

L1:(4) Consideration, by the requiring activity, of installation energy and security

L0:resilience has been taken into account (e.g., on-site sources of energy and fuel resupply

L0:would allow the installation to continue to perform its mission even with disruption of Russian

L0:Federation-sourced energy, the installation has addressed energy resilience and security

L0:risks and vulnerabilities, etc.).

L1:(b) The head of the contracting activity must submit to the congressional defense

L0:committees a notice of the waiver with a copy to DPCAP, Contract Policy, via email at

L0:energy contract on the basis of an approved waiver. The notification must include a copy of

L0:the waiver. Include a copy of the approved waiver in the contract file.

L0:PGI 225.7020 Prohibition on contracting with the Maduro regime.

L0:PGI 225.7020-4 Joint determination.

L2:(b)(1) Notify DPCAP, Contract Policy, via email at

L0:of a joint determination made by the Secretary of Defense and the Secretary of State in

L0:accordance with agency procedures for the review and coordination, and include a copy of

L0:the joint determination in the notification; and

L1:(2) Include a copy of the joint determination in the contract file.

L0:PGI 225.7021 Disclosure requirements for employment transparency regarding

L0:individuals who perform work in the People's Republic of China.

L0:Provide disclosures received from a covered entity in response to the provision at DFARS

PART 26

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

226.102-2 Contract clause

Status: active

L0:226.102-2 Contract clause.

L0:Insert the clause at 252.226-7001, Utilization of Indian Organizations, Indian-Owned

L0:Economic Enterprises, and Native Hawaiian Small Business Concerns, in solicitations

L0:and contracts, including solicitations and contracts using FAR part 12 procedures for

L0:the acquisition of commercial products and commercial services, that are for supplies or

L0:services exceeding \$500,000 in value.

226.103 Postaward

Status: active

L0:226.103 Postaward.

L0:Follow the procedures at PGI 226.103 when submitting a request for funding of an

L0:Indian incentive.

226.570 Drug-free work force

Status: active

L0:226.570 Drug-free work force.

226.570-1 Policy

Status: active

L0:226.570-1 Policy.

L0:DoD policy is to ensure that its contractors maintain a program for achieving a drug-

L0:free work force.

226.570-2 Contract clause

Status: active

L0:226.570-2 Contract clause.

L1:(a) Insert the clause at 252.226-7003, Drug-Free Work Force, in all solicitations and

L0:contracts?

L1:(1) That involve access to classified information; or

L1:(2) When the contracting officer determines that the clause is necessary for

L0:reasons of national security or for the purpose of protecting the health or safety of those

L0:using or affected by the product of, or performance of, the contract.

L1:(b) Do not use the clause in solicitations and contracts?

L1:(1) For commercial products and commercial services;

L1:(2) When performance or partial performance will be outside the United States

L0:and its outlying areas, unless the contracting officer determines such inclusion to be in

L0:the best interest of the Government; or

L1:(3) When the value of the acquisition is at or below the simplified acquisition

L0:threshold.

226.7100 Scope of subpart

Status: active

L0:226.7100 Scope of subpart.

L0:This subpart implements Section 2912 of the Fiscal Year 1994 Defense Authorization

L0:Act (Pub. L. 103-160) and Section 817 of the Fiscal Year 1995 Defense Authorization

L0:Act (Pub. L. 103-337).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 26

L0:Defense FAR Supplement (DFARS) Part 226

226.7101 Definition

Status: active

L0:226.7101 Definition.

L0:Vicinity, as used in this subpart, means the county or counties in which the military

L0:installation to be closed or realigned is located and all adjacent counties, unless

L0:otherwise defined by the agency head.

226.7102 Policy

Status: active

L0:226.7102 Policy.

L0:Provide businesses within the vicinity, including small and small disadvantaged

L0:businesses the maximum practicable opportunity to participate in acquisitions,

L0:including those for environmental restoration and mitigation, that support the closure

L0:or realignment of a military installation (10 U.S.C. 2687).

226.7103 Procedure

Status: active

L0:226.7103 Procedure.

L0:In considering acquisitions for award through the 8(a) program (see 219.108 and FAR 19.108) or in making set-aside decisions under 219.104 and FAR 19.104 for acquisitions in support of a base closure or realignment?

L1:(a) Determine whether there is a reasonable expectation of receiving offers from responsible business concerns located in the vicinity of the military installation that is being closed or realigned.

L1:(b) If offers are not expected from business concerns in the vicinity, consider 8(a) or other set-aside programs provided in part 219 and FAR part 19.

L1:(c) If offers are expected from business concerns in the vicinity?

L1:(1) Consider the 8(a) program only if at least one eligible 8(a) contractor is located in the vicinity.

L1:(2) Set aside the acquisition for small business only if at least one of the expected offers is from a small business located in the vicinity.

226.7104 Other considerations

Status: active

L0:226.7104 Other considerations.

L0:When planning for contracts for services related to base closure activities at a military installation affected by a closure or realignment under a base closure law, consider including, as a factor in source selection, the extent to which offerors specifically identify and commit, in their proposals, to a plan to hire residents of the vicinity of the military installation that is being closed or realigned.

226.7200 Scope of subpart

Status: active

L0:226.7200 Scope of subpart.

L0:This subpart implements section 853 of the National Defense Authorization Act for Fiscal Year 2004 (Pub. L. 108-136, 10 U.S.C. 3901 note prec.). This subpart does not supersede the requirement to use the mandatory sources in FAR part 8 or the small business programs in FAR part 19.

226.7201 Definitions

Status: active

L0:226.7201 Definitions.

L0:As used in this subpart?

L0:“Eligible contractor” means a business entity operated on a for-profit or nonprofit basis that?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 26
L0:Defense FAR Supplement (DFARS) Part 226

L1:(1) Employs severely disabled individuals at a rate that averages not less than
L0:33 percent of its total workforce over the 12-month period prior to issuance of the
L0:solicitation;
L1:(2) Pays not less than the minimum wage prescribed pursuant to 29 U.S.C. 206
L0:to the employees who are severely disabled individuals; and
L1:(3) Provides, for its employees, health insurance and a retirement plan
L0:comparable to those provided for employees by business entities of similar size in its
L0:industrial sector or geographic region.
L0:Severely disabled individual? means an individual with a disability (as defined in
L0:42 U.S.C. 12102) who has a severe physical or mental impairment that seriously limits
L0:one or more functional capacities.

226.7202 Policy

Status: active

L0:226.7202 Policy.
L0:Contracting officers may use this Demonstration Project to award one or more contracts
L0:to an eligible contractor for the purpose of providing defense contracting opportunities
L0:for entities that employ severely disabled individuals. To determine if there are eligible
L0:contractors capable of fulfilling the agency?s requirement, conduct market research as
L0:described in part 210 and FAR part 10. When electing to use this Demonstration
L0:Project, see PGI 226.7202.

226.7203 Solicitation provision

Status: active

L0:226.7203 Solicitation provision.
L0:Insert the provision at 252.226-7002, Representation for Demonstration Project for
L0:Contractors Employing Persons with Disabilities, in solicitations when using this
L0:Demonstration Project, including solicitations using FAR part 12 procedures for the
L0:acquisition of commercial products and commercial services.

252.226-7001 Utilization of Indian Organizations, Indian-Owned Economic

Status: active

L0:252.226-7001 Utilization of Indian Organizations, Indian-Owned Economic
L0:Enterprises, and Native Hawaiian Small Business Concerns.
L0:As prescribed in 226.102-2, use the following clause:
**L0:UTILIZATION OF INDIAN ORGANIZATIONS, INDIAN-OWNED ECONOMIC
L0:ENTERPRISES, AND NATIVE HAWAIIAN SMALL BUSINESS CONCERNS
L0:(JAN 2023)**
L1:(a) Definitions. As used in this clause?
L0:Indian? means?

L1:(1) Any person who is a member of any Indian tribe, band, group, pueblo, or
L0:community that is recognized by the Federal Government as eligible for services from
L0:the Bureau of Indian Affairs (BIA) in accordance with 25 U.S.C. 1452(c); and
L1:(2) Any "Native" as defined in the Alaska Native Claims Settlement Act (43
L0:U.S.C. 1601 et seq.).
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 26
L0:Defense FAR Supplement (DFARS) Part 226
L0:"Indian organization" means the governing body of any Indian tribe or entity
L0:established or recognized by the governing body of an Indian tribe for the purposes of 25
L0:U.S.C. Chapter 17.
L0:"Indian-owned economic enterprise" means any Indian-owned (as determined by the
L0:Secretary of the Interior) commercial, industrial, or business activity established or
L0:organized for the purpose of profit, provided that Indian ownership constitutes not less
L0:than 51 percent of the enterprise.
L0:"Indian tribe" means any Indian tribe, band, group, pueblo, or community, including
L0:native villages and native groups (including corporations organized by Kenai, Juneau,
L0:Sitka, and Kodiak) as defined in the Alaska Native Claims Settlement Act, that is
L0:recognized by the Federal Government as eligible for services from BIA in accordance
L0:with 25 U.S.C. 1452(c).
L0:"Interested party" means a contractor or an actual or prospective offeror whose
L0:direct economic interest would be affected by the award of a subcontract or by the
L0:failure to award a subcontract.
L0:"Native Hawaiian small business concern" means an entity that is?
L1:(1) A small business concern as defined in Section 3 of the Small Business Act
L0:(15 U.S.C. 632) and relevant implementing regulations; and
L1:(2) Owned and controlled by a Native Hawaiian as defined in 25 U.S.C. 4221(9).
L1:(b) The Contractor shall use its best efforts to give Indian organizations, Indian-
L0:owned economic enterprises, and Native Hawaiian small business concerns the
L0:maximum practicable opportunity to participate in the subcontracts it awards, to the
L0:fullest extent consistent with efficient performance of the contract.
L1:(c) The Contracting Officer and the Contractor, acting in good faith, may rely on the
L0:representation of an Indian organization, Indian-owned economic enterprise, or Native
L0:Hawaiian small business concern as to its eligibility, unless an interested party
L0:challenges its status or the Contracting Officer has independent reason to question that
L0:status.
L1:(d) In the event of a challenge to the representation of a subcontractor, the
L0:Contracting Officer will refer the matter to?
L2:(1)(i) For matters relating to Indian organizations or Indian-owned economic
L0:enterprises:
L0:U.S. Department of the Interior
L0:Bureau of Indian Affairs
L0:Attn: Bureau Procurement Chief
L0:12220 Sunrise Valley Drive
L0:Reston, VA 20191
L0:Phone: 703-390-6433

L0:Website: <https://www.bia.gov/>

L1:(ii) The BIA will determine the eligibility and will notify the Contracting
L0:Officer.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 26

L0:Defense FAR Supplement (DFARS) Part 226

L2:(2)(i) For matters relating to Native Hawaiian small business concerns:

L0:Department of Hawaiian Home Lands

L0:PO Box 1879

L0:Honolulu, HI 96805

L0:Phone: 808-620-9500

L0:Website: <http://dhhl.hawaii.gov/>

L1:(ii) The Department of Hawaiian Home Lands will determine the eligibility

L0:and will notify the Contracting Officer.

L1:(e) No incentive payment will be made?

L1:(1) While a challenge is pending; or

L1:(2) If a subcontractor is determined to be an ineligible participant.

L2:(f)(1) The Contractor, on its own behalf or on behalf of a subcontractor at any tier,

L0:may request an incentive payment in accordance with this clause.

L1:(2) The incentive amount that may be requested is 5 percent of the estimated

L0:cost, target cost, or fixed price included in the subcontract at the time of award to the

L0:Indian organization, Indian-owned economic enterprise, or Native Hawaiian small

L0:business concern.

L1:(3) In the case of a subcontract for commercial products or commercial services,

L0:the Contractor may receive an incentive payment only if the subcontracted items are

L0:produced or manufactured in whole or in part by an Indian organization, Indian-owned

L0:economic enterprise, or Native Hawaiian small business concern.

L1:(4) The Contractor has the burden of proving the amount claimed and shall

L0:assert its request for an incentive payment prior to completion of contract performance.

L1:(5) The Contracting Officer, subject to the terms and conditions of the contract

L0:and the availability of funds, will authorize an incentive payment of 5 percent of the

L0:estimated cost, target cost, or fixed price included in the subcontract awarded to the

L0:Indian organization, Indian-owned economic enterprise, or Native Hawaiian small

L0:business concern.

L1:(6) If the Contractor requests and receives an incentive payment on behalf of a

L0:subcontractor, the Contractor is obligated to pay the subcontractor the incentive

L0:amount.

L1:(g) The Contractor shall insert the substance of this clause, including this

L0:paragraph (g), in all subcontracts exceeding \$500,000.

L0:(End of clause)

252.226-7002 Representation for Demonstration Project for Contractors

Status: active

L0:252.226-7002 Representation for Demonstration Project for Contractors

L0:Employing Persons with Disabilities.

L0:As prescribed in 226.7203, use the following provision:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 26

L0:Defense FAR Supplement (DFARS) Part 226

L0:REPRESENTATION FOR DEMONSTRATION PROJECT FOR CONTRACTORS

L0:EMPLOYING PERSONS WITH DISABILITIES (DEC 2019)

L1:(a) Definitions. As used in this provision?

L0:Eligible contractor? means a business entity operated on a for-profit or nonprofit basis that?

L1:(1) Employs severely disabled individuals at a rate that averages not less than 33 percent of its total workforce over the 12-month period prior to issuance of the solicitation;

L1:(2) Pays not less than the minimum wage prescribed pursuant to 29 U.S.C. 206 to the employees who are severely disabled individuals; and

L1:(3) Provides, for its employees, health insurance and a retirement plan comparable to those provided for employees by business entities of similar size in its industrial sector or geographic region.

L0:Severely disabled individual? means an individual with a disability (as defined in 42 U.S.C. 12102) who has a severe physical or mental impairment that seriously limits one or more functional capacities.

L1:(b) Demonstration Project. This solicitation is issued pursuant to the Demonstration Project for Contractors Employing Persons with Disabilities. The purpose of the Demonstration Project is to provide defense contracting opportunities for entities that employ severely disabled individuals. To be eligible for award, an offeror must be an eligible contractor as defined in paragraph (a) of this provision.

L1:(c) Representation. The offeror represents that it [] is [] is not an eligible contractor as defined in paragraph (a) of this provision.

L0:(End of provision)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 26

L0:Defense FAR Supplement (DFARS) Part 226

L0:PGI 226.72?OTHER SOCIOECONOMIC PROGRAMS

L0:PGI 226.1?INDIAN INCENTIVE PROGRAM

L0:PGI 226.103 Postaward.

L1:(1) For more information on the Indian Incentive Program and to submit a request for funding, see the DoD Office of Small Business Programs website at <https://business.defense.gov/Programs/Indian-Incentive-Program/>.

L1:(2) Upon receipt of funding from the Office of the Deputy Assistant Secretary of Defense (Industrial Policy), Office of Small Business Programs, issue a contract modification to add the Indian incentive funding for payment of the contractor's request for adjustment as described in the clause at DFARS 252.226-7001, Utilization of Indian Organizations, Indian-Owned Economic Enterprises, and Native Hawaiian Small Business Concerns.

L0:PGI 226.72?DEMONSTRATION PROJECT FOR CONTRACTORS EMPLOYING

L0:PERSONS WITH DISABILITIES

L0:PGI 226.7202 Procedures.

L0:PGI 226.7202-1 Presolicitation

L0:When electing to use the Demonstration Project?

L1:(a) Prepare a written justification, in accordance with FAR part 6.103-5, limiting the
L0:competition to eligible contractors. The statutory basis for the Demonstration Project is 10
L0:U.S.C. 3901 note prec.

L1:(b) Establish an evaluation factor based upon the percentage of the offeror's total workforce
L0:that consists of severely disabled individuals employed by the offeror. Contracting officers
L0:may use a rating method in which a higher percentage of the offeror's total workforce
L0:consisting of severely disabled individuals would result in a higher rating for this evaluation
L0:factor.

L0:PGI 226.7202-2 Postaward

L1:(a) Contracts awarded to eligible contractors under this Demonstration Project are counted
L0:toward DoD's small disadvantaged business goal. The contractor must be an eligible
L0:contractor when options under the contract are exercised, in order for DoD to continue to
L0:receive credit for the contract toward its small disadvantaged business goal.

L1:(b) Contracting officers may exercise the option if the contractor has represented that it is
L0:not an eligible contractor; however, the contract will not count toward DoD's small
L0:disadvantaged business goal.

PART 27

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

227.300 Scope of subpart

Status: active

L0:227.300 Scope of subpart.

L0:In addition to FAR 27.300, this subpart provides patent-related procedures and contract

L0:clauses for use in Government contracts.

227.303 Contract clauses

Status: active

L0:227.303 Contract clauses.

L1:(1) Insert the clause at 252.227-7039, Patents?Reporting of Subject Inventions, in

L0:solicitations and contracts containing the clause at FAR 52.227-11, Patent Rights?

L0:Ownership by the Contractor.

L2:(2)(i) Insert the clause at 252.227-7038, Patent Rights?Ownership by the

L0:Contractor (Large Business), instead of the clause at FAR 52.227-11, in solicitations and

L0:contracts for experimental, developmental, or research work if?

L1:(A) The contractor is other than a small business concern or nonprofit

L0:organization; and

L1:(B) No alternative patent rights clause is used in accordance with FAR

L0:27.303(c) or (e).

L1:(ii) Insert the clause with its Alternate I if?

L1:(A) The acquisition of patent rights for the benefit of a foreign government

L0:is required under a treaty or executive agreement;

L1:(B) The agency head determines at the time of award that it would be in the

L0:national interest to acquire the right to sublicense foreign governments or international

L0:organizations pursuant to any existing or future treaty or agreement; or

L1:(C) Other rights are necessary to effect a treaty or agreement, in which case

L0:Alternate I may be modified.

L1:(iii) Insert the clause with its Alternate II in long-term contracts if necessary to

L0:effect treaty or agreements to be entered into.

227.304 Procedures

Status: active

L0:227.304 Procedures.

227.304-70 Reporting

Status: active

L0:227.304-70 Reporting.

L0:Interim and final invention reports and notification of all subcontracts for experimental,

L0:developmental, or research work may be submitted on DD Form 882, Report of

L0:Inventions and Subcontracts.

227.400 Scope of subpart

Status: active

L0:227.400 Scope of subpart.

L0:Use the procedures in subparts 227.71 and 227.72 instead of the guidance in FAR

L0:subpart 27.4.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

227.670 [Reserved]

Status: active

L0:227.670 [Reserved]

227.671 [Reserved]

Status: active

L0:227.671 [Reserved]

227.672 [Reserved]

Status: active

L0:227.672 [Reserved]

227.673 Foreign license and technical assistance agreements between the

Status: active

L0:227.673 Foreign license and technical assistance agreements between the

L0:Government and domestic concerns.

L0:See PGI 227.673 for guidance on foreign license and technical assistance agreements

L0:between the Government and domestic concerns.

227.674 Supply contracts between the Government and a foreign government

Status: active

L0:227.674 Supply contracts between the Government and a foreign government

L0:or concern.

L0:See PGI 227.674 for guidance on supply contracts between the Government and a

L0:foreign government or concern.

227.675 Foreign license and technical assistance agreements between a

Status: active

L0:227.675 Foreign license and technical assistance agreements between a

L0:domestic concern and a foreign government or concern.

227.675-1 Statutes, regulations, and guidance

Status: active

L0:227.675-1 Statutes, regulations, and guidance.

L0:See PGI 227.675-1 for a list of applicable export control statutes, regulations, and

L0:guidance.

227.675-2 Review of agreements

Status: active

L0:227.675-2 Review of agreements.

L0:See PGI 227.675-2 for guidance on review of foreign license and technical assistance

L0:agreements between a domestic concern and a foreign government or concern.

227.676 [Reserved]

Status: active

L0:227.676 [Reserved]

227.7100 Scope of subpart

Status: active

L0:227.7100 Scope of subpart.

L0:This subpart?

L1:(a) Prescribes policies and procedures for the acquisition of technical data, computer

L0:software, computer software documentation, and the rights to use, modify, reproduce,

L0:release, perform, display, or disclose technical data. It implements the following laws

L0:and Executive Order:

L1:(1) 10 U.S.C. 3013.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(2) 10 U.S.C. 3208(d).

L1:(3) 10 U.S.C. 3771-3775.

L1:(4) 10 U.S.C. 3781-3786.

L1:(5) 10 U.S.C. 8687.

L1:(6) 17 U.S.C. 1301, et seq.

L1:(7) Public Law 103-355.

L1:(8) Executive Order 12591 (subsection 1(b)(7)).

L1:(b) Does not apply to?

L1:(1) Releases of technical data, computer software, and computer software

L0:documentation to litigation support contractors (see subpart 204.74); or

L1:(2) Computer software or computer software documentation acquired under

L0:Federal Supply Schedule contracts or orders.

227.7101 Definitions

Status: active

L0:227.7101 Definitions.

L0:As used in this subpart?

L0:?"Commercial computer software?" means software developed or regularly used for

L0:nongovernmental purposes which?

L1:(1) Has been sold, leased, or licensed to the public;

L1:(2) Has been offered for sale, lease, or license to the public;

L1:(3) Has not been offered, sold, leased, or licensed to the public but will be available

L0:for commercial sale, lease, or license in time to satisfy the delivery requirements of this

L0:contract; or

L1:(4) Satisfies a criterion expressed in paragraph (1), (2), or (3) of this definition and

L0:would require only minor modification to meet the requirements of this contract.

L0:?"Computer program?" means a set of instructions, rules, or routines recorded in a form

L0:that is capable of causing a computer to perform a specific operation or series of

L0:operations.

L0:?"Computer software?" means computer programs, source code, source code listings,

L0:object code listings, design details, algorithms, processes, flow charts, formulae and

L0:related material that would enable the software to be reproduced, recreated, or

L0:recompiled. Computer software does not include computer data bases or computer

L0:software documentation.

L0:?"Computer software documentation?" means owner?s manuals, user?s manuals,

L0:installation instructions, operating instructions, and other similar items, regardless of

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:storage medium, that explain the capabilities of the computer software or provide

L0:instructions for using the software.

L0: "Contractor" means a contractor to include a contractor's subcontractors, suppliers, or potential subcontractors or suppliers at any tier.

L0: "Covered Government support contractor" means a contractor (other than a litigation support contractor covered by 252.204-7014) under a contract, the primary purpose of which is to furnish independent and impartial advice or technical assistance directly to the Government in support of the Government's management and oversight of a program or effort, rather than to directly furnish an end item or service to accomplish a program or effort, provided that the contractor:

L1:(1) Is not affiliated with the prime contractor or a first-tier subcontractor on the program or effort, or with any direct competitor of such prime contractor or any such first-tier subcontractor in furnishing end items or services of the type developed or produced on the program or effort; and

L1:(2) Receives access to technical data or computer software for performance of a Government contract that contains the clause at 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends.

L0: "Detailed manufacturing or process data" means technical data that describe the steps, sequences, and conditions of manufacturing, processing or assembly used by the manufacturer to produce an item or component or to perform a process.

L0: "Developed" means:

L1:(1) (Applicable to technical data other than computer software documentation.) An item, component, or process exists and is workable. Thus, the item or component must have been constructed or the process practiced. Workability is generally established when the item, component, or process has been analyzed or tested sufficiently to demonstrate to reasonable people skilled in the applicable art that there is a high probability that it will operate as intended. Whether, how much, and what type of analysis or testing is required to establish workability depends on the nature of the item, component, or process, and the state of the art. To be considered "developed," the item, component, or process need not be at the stage where it could be offered for sale or sold on the commercial market, nor must the item, component, or process be actually reduced to practice within the meaning of Title 35 of the United States Code;

L1:(2) A computer program has been successfully operated in a computer and tested to the extent sufficient to demonstrate to reasonable persons skilled in the art that the program can reasonably be expected to perform its intended purpose;

L1:(3) Computer software, other than computer programs, has been tested or analyzed to the extent sufficient to demonstrate to reasonable persons skilled in the art that the software can reasonably be expected to perform its intended purpose; or

L1:(4) Computer software documentation the contractor must deliver under a contract has been written, in any medium, in sufficient detail to comply with requirements under that contract.

L0: Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0: Defense FAR Supplement (DFARS) Part 227

L0: "Developed exclusively at private expense" means development was accomplished entirely with costs charged to indirect cost pools, costs not allocated to a Government contract, or any combination thereof.

L1:(1) Private expense determinations should be made at the lowest practicable level.

L1:(2) Under fixed-price contracts, when total costs are greater than the firm-fixed-price or ceiling price of the contract, the additional development costs necessary to complete development shall not be considered when determining whether development was at Government, private, or mixed expense.

L0: Developed exclusively with Government funds? means development was not accomplished exclusively or partially at private expense.

L0: Developed with mixed funding? means development was accomplished partially with costs charged to indirect cost pools and/or costs not allocated to a government contract, and partially with costs charged directly to a government contract.

L0: Form, fit, and function data? means technical data that describe the required overall physical, functional, and performance characteristics (along with the qualification requirements, if applicable) of an item, component, or process to the extent necessary to permit identification of physically and functionally interchangeable items.

L0: Generated means?, with regard to technical data or computer software, first created in the performance of this contract.

L0: Government purpose? means any activity in which the United States Government is a party, including cooperative agreements with international or multi-national defense organizations, or sales or transfers by the United States Government to foreign governments or international organizations. Government purposes include competitive procurement, but do not include the rights to use, modify, reproduce, release, perform, display, or disclose technical data, computer software, or computer software documentation for commercial purposes or authorize others to do so.

L0: Government purpose rights? means the rights to?

L1:(1) Use, modify, reproduce, release, perform, display, or disclose technical data, computer software, or computer software documentation within the Government without restriction; and

L1:(2) Release or disclose technical data, computer software, or computer software documentation outside the Government and authorize persons to whom release or disclosure has been made to use, modify, reproduce, release, perform, display, or disclose that data or software for United States Government purposes.

L0: Limited rights? means the rights to use, modify, reproduce, release, perform, display, or disclose technical data, in whole or in part, within the Government. The Government may not, without the written permission of the party asserting limited rights, release or disclose the technical data outside the Government, use the technical data for manufacture, or authorize the technical data to be used by another party, except that Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27 Defense FAR Supplement (DFARS) Part 227

L0: the Government may reproduce, release, or disclose such data or authorize the use or reproduction of the data by persons outside the Government if?

L1:(1) The reproduction, release, disclosure, or use is?

L1:(i) Necessary for emergency repair and overhaul; or

L1:(ii) A release or disclosure to?

L1:(A) A covered Government support contractor in performance of its covered Government support contract for use, modification, reproduction, performance, display, or release or disclosure to a person authorized to receive limited rights technical data; or

L1:(B) A foreign government, of technical data other than detailed

L0:manufacturing or process data, when use of such data by the foreign government is in

L0:the interest of the Government and is required for evaluational or informational

L0:purposes;

L1:(2) The recipient of the technical data is subject to a prohibition on the further

L0:reproduction, release, disclosure, or use of the technical data; and

L1:(3) The contractor or subcontractor asserting the restriction is notified of such

L0:reproduction, release, disclosure, or use.

L0:Offeror? means an offeror to include an offeror's subcontractors, suppliers, or potential

L0:subcontractors or suppliers at any tier.

L0:Other than commercial computer software? means software that does not qualify as

L0:commercial computer software under the definition of ?commercial computer software?

L0:of this clause.

L0:Restricted rights? apply only to other than commercial computer software and mean

L0:the Government's rights to?

L1:(1) Use a computer program with one computer at one time. The program may not

L0:be accessed by more than one terminal or central processing unit or time shared unless

L0:otherwise permitted by this contract;

L1:(2) Transfer a computer program to another Government agency without the

L0:further permission of the Contractor if the transferor destroys all copies of the program

L0:and related computer software documentation in its possession and notifies the licensor

L0:of the transfer. Transferred programs remain subject to the provisions of this clause;

L1:(3) Make a reasonable number of copies of the computer software required for the

L0:purposes of safekeeping (archive), backup, modification, or other activities authorized in

L0:paragraphs (1), (2), (4) and (5) of this definition;

L1:(4) Modify computer software provided that the Government may?

L1:(i) Use the modified software only as provided in paragraphs (1) and (3) of this

L0:definition; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(ii) Not release or disclose the modified software except as provided in

L0:paragraphs (2) and (5) of this clause;

L1:(5) Use, modify, reproduce, perform, display, or release or disclose the computer

L0:software, and permit contractors, subcontractors, or covered Government support

L0:contractors to do so, for purposes set forth in subparagraph (i) of this paragraph,

L0:subject to the conditions set forth in subparagraphs (ii) of this paragraph:

L2:(i)(A) In performance of service contracts (see FAR 37.101), to diagnose and

L0:correct deficiencies, to modify the software to enable a computer program to be

L0:combined with, adapted to, or merged with other computer programs, or when

L0:necessary to respond to urgent tactical situations, provided that the Government

L0:notifies the party which has granted restricted rights that any such release or

L0:disclosure to particular contractors or subcontractors was made;

L1:(B) To perform emergency repairs or overhaul of items or components

L0:procured under this or a related contract, when necessary to perform such repairs

L0:or overhaul; or

L1:(C) For the management and oversight of a program or effort by a
L0:person authorized to receive restricted rights computer software, including in the
L0:performance of covered Government support contracts.

L2:(ii)(A) Any contractor, subcontractor, or covered Government support
L0:contractor receiving access to the software for the purposes of subparagraphs (i), (ii),
L0:or (iii) of this paragraph must either be subject to the use and nondisclosure
L0:agreement at 227.7103-7 or be performing a Government contract that contains the
L0:clause at 252.227-7994, Limitations on the Use or Disclosure of Government-
L0:Furnished Information Marked with Restrictive Legends;

L1:(B) The Government must not permit any recipient of the software under
L0:this paragraph to decompile, disassemble, or reverse engineer the software, or use
L0:software decompiled, disassembled, or reverse engineered by the Government pursuant
L0:to paragraph (4) of this definition, for any other purpose; and

L1:(C) Any use, modification, reproduction, performance, display, release,
L0:or disclosure of the computer software under this paragraph remains subject to the
L0:limitations in paragraphs (1) through (4) of this definition.

L0:Small Business Innovation Research/Small Business Technology Transfer
L0:(SBIR/STTR) data? means all technical data or computer software developed or
L0:generated in the performance of a phase I, II, or III SBIR/STTR contract or subcontract.

L0:SBIR/STTR data protection period? means the time period during which the
L0:Government is obligated to protect SBIR/STTR data against unauthorized use and
L0:disclosure in accordance with SBIR/STTR data rights. The SBIR/STTR data protection
L0:period begins on the date of award of the contract under which the SBIR/STTR data are
L0:developed or generated and ends 20 years after that date unless, after the award, the
L0:agency and the Contractor negotiate for some other protection period for the
L0:SBIR/STTR data developed or generated under that contract.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227

L0:Technical data? means recorded information, regardless of the form or method of the
L0:recording, of a scientific or technical nature (including computer software
L0:documentation). The term does not include computer software or financial,
L0:administrative, cost or pricing, or management information, or information incidental to
L0:contract administration.

L0:Unlimited rights? means rights to use, modify, reproduce, perform, display, release, or
L0:disclose technical data, computer software, or computer software documentation in
L0:whole or in part, in any manner, and for any purpose whatsoever, and to have or
L0:authorize others to do so.

227.7102 [Reserved]

Status: active

L0:227.7102 [Reserved]

227.7103 Other than commercial products, commercial services, commercial

Status: active

L0:227.7103 Other than commercial products, commercial services, commercial
L0:processes, commercial computer software, or commercial computer software
L0:documentation.

227.7103-1 Policy

Status: active

L0:227.7103-1 Policy.

L1:(a) DoD policy is to acquire only the technical data, computer software, and
L0:computer software documentation, and the associated rights, necessary to satisfy
L0:agency needs.

L1:(b) Contracting officers must ensure that solicitations and contracts?

L1:(1) Specify the technical data, computer software, and computer software
L0:documentation the contractor must deliver under a contract and delivery schedules for
L0:the data;

L1:(2) Specify procedures for determining the acceptability of technical data,
L0:computer software, and computer software documentation;

L1:(3) Specify separate line items, to the extent practicable, for the technical data,
L0:computer software, and computer software documentation the contractor must deliver
L0:under a contract and require offerors and contractors to price each deliverable data or
L0:computer software item separately; and

L1:(4) Require offerors and contractors to identify, to the extent practicable,
L0:technical data and computer software they will furnish or deliver with restrictions on
L0:the Government's rights in the technical data or computer software.

L1:(c) Do not require offerors, either as a condition of being responsive to a solicitation
L0:or as a condition for award, to sell or otherwise relinquish to the Government any rights
L0:in computer software developed at private expense or technical data related to items,
L0:components or processes developed at private expense except for the data or the
L0:software identified at 227.7103-5(a)(2), (4) through (9), and (12) through (15).

L1:(d) Do not prohibit offerors and contractors from furnishing or offering to furnish
L0:computer software, items, components, or processes developed at private expense solely
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227

L0:because the Government's rights to use, modify, release, reproduce, perform, display, or
L0:disclose computer software or technical data related to those items may be restricted.

L1:(e) Solicitations for major systems development contracts must not require offerors
L0:to submit proposals that would permit the Government to competitively acquire items
L0:identical to items developed at private expense unless a determination is made at a
L0:level above the contracting officer (10 U.S.C. 3208). The determination must address
L0:the following:

L1:(1) The offeror will not be able to satisfy program schedule or delivery

L0:requirements.

L1:(2) The offeror's proposal to meet mobilization requirements does not satisfy

L0:mobilization needs.

L1:(f) For acquisitions involving major weapon systems or subsystems of major weapon

L0:systems, the acquisition plan must address acquisition strategies that provide for

L0:technical data, computer software, computer software documentation, and the

L0:associated license rights in accordance with 207.106-70.

L1:(g) The Government's rights in a vessel design, and in any useful article embodying

L0:a vessel design, must be consistent with the Government's rights in technical data

L0:related to the design (10 U.S.C. 8687; 17 U.S.C. 1301(a)(3)).

227.7103-3 Identification of restrictions on the Government's right to use,

Status: active

L0:227.7103-3 Identification of restrictions on the Government's right to use,

L0:reproduce or disclose technical data or computer software.

L3:(a)(1)(i) Offerors are required to identify to the contracting officer, prior to contract

L0:award, any technical data or computer software that the offeror asserts should be

L0:provided to the Government with restrictions on use, modification, reproduction, release

L0:or disclosure. Offerors are required to attach the notification and identification to their

L0:offer.

L2:(ii)(A) An offeror's failure to submit the attachment or to complete it in

L0:accordance with the provision?

L1:(1) Constitutes a minor informality within the meaning of FAR

L0:part 14; or

L0:part 15.

L1:(2) Provides reason to seek clarification within the meaning of FAR

L1:(B) Provide the offeror an opportunity to remedy the failure under the

L0:procedures in FAR part 14 or 15. If the offeror does not correct the error, its offer will be

L0:ineligible for award.

L2:(2)(i) Contracting officers may request information to enable the review and

L0:evaluation of any offeror-provided assertion. Resolve questions regarding the validity of

L0:asserted restrictions prior to contract award.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(ii) After award of the contract, use the procedures at 227.7103-13 to

L0:evaluate an asserted restriction or asserted rights category.

L1:(3) The Government may use information that offerors provide in response to

L0:the provision at 252.227-7992 during source selection to evaluate the impact of

L0:restrictions on the Government's ability to use or disclose technical data or computer

L0:software. Do not?

L1:(i) Prohibit offerors from offering products for which the offeror is entitled to

L0:provide the technical data or computer software with restrictions; or

L1:(ii) Require offerors, either as a condition of being responsive to a

L0:solicitation or as a condition for award, to sell or otherwise relinquish rights in technical
L0:data or computer software except for the standard rights specified in the applicable
L0:clauses.

L1:(4) Attach the successful offeror's assertions to the contract unless, in
L0:accordance with the procedures at 227.7103-13, the parties have agreed that an
L0:asserted restriction is not justified. Validate that the contract attachment contains the
L0:same information regarding identification of the technical data, the asserted rights
L0:category, the basis for the assertion, and the name of the person asserting the
L0:restrictions that the offeror provided in response to the solicitation.

L1:(5) Neither the contractor's pre- or post-award assertions, nor the fact that the
L0:attachment to the contract identifies certain assertions, determines the respective
L0:rights of the parties. As provided at 227.7103-13, the Government has the right to
L0:review, verify, challenge and validate restrictive markings.

L1:(b) [Reserved]

L1:(c) After award of the contract, the contractor may make additional assertions
L0:under certain conditions. The contractor is required to make any additional assertions
L0:in accordance with the applicable clause.

227.7103-4 License rights

Status: active

L0:227.7103-4 License rights.

L1:(a) Grant of license. (1)(i) The Government obtains rights in technical data,
L0:computer software, and computer software documentation, including a copyright
L0:license, under an irrevocable license granted or obtained for the Government by the
L0:contractor. The contractor or licensor retains all rights in the data or software not
L0:granted to the Government.

L1:(ii) For technical data related to items, components, or processes, the source
L0:of funds used to develop the item, component, or process generally determines the scope
L0:of the license.

L1:(iii) When the technical data do not relate to items, components, or
L0:processes, the source of funds used to create the data determines the scope of the
L0:license.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227

L1:(iv) For computer software licenses, the source of funds used to develop the
L0:software generally determines the scope of the license.

L1:(2) Technical data and computer software.

L1:(i) Development exclusively at private expense; limited rights and restricted
L0:rights.

L0:use, modify, release, reproduce, perform, display or disclose:

L1:(A) Contractors or licensors may restrict the Government's rights to

L1:(1) Technical data related to items, components, or processes

L0:developed exclusively at private expense unless an exception at 227.7103-5(a) applies;

L0:or

L0:except as provided at 227.7103-5(a)(12) through (15).

L1:(2) Computer software developed exclusively at private expense,

L0:such technical data or computer software described in paragraph (A).

L1:(B) The Government has a limited rights or restricted rights license in

L1:(ii) Development exclusively at Government expense; unlimited rights.

L1:(A) Contractors or licensors may not restrict the Government's rights in

L0:technical data related to items, components, processes developed exclusively at

L0:Government expense without the Government's approval.

L1:(B) Contractors or licensors may not, without the Government's

L0:agreement, restrict the Government's rights in computer software developed exclusively

L0:with Government funds or in computer software documentation that is a required

L0:deliverable under a contract.

L0:data or computer software described in paragraphs (A) and (B).

L1:(C) The Government has an unlimited rights license in such technical

L1:(iii) Development with mixed funding; government purpose rights.

L1:(A) When an item, component, or process is developed with mixed

L0:funding, except as provided at 227.7103-5(a)(2), (a)(4) through (9), and (a)(11), the

L0:Government may use, modify, release, reproduce, perform, display or disclose the

L0:technical data related to such items, components, or processes within the Government

L0:without restriction but may release or disclose the data outside the Government only for

L0:government purposes.

L1:(B) When computer software is developed with mixed funding, except as

L0:provided at 227.7103-5(a)(12) through (15), the Government may use, modify, release,

L0:reproduce, perform, display or disclose the computer software within the Government

L0:without restriction but may release or disclose the computer software outside the

L0:Government only for government purposes.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:technical data or computer software described in paragraphs (A) and (B).

L1:(C) The Government has a government purpose rights license in such

L1:(3) Technical data that do not relate to items, components, or processes.

L0:Technical data may be created during the performance of a contract for a conceptual

L0:design or similar effort that does not require the development, manufacture,

L0:construction, or production of items, components or processes. The Government

L0:generally obtains unlimited rights in such data when the data were created exclusively

L0:with Government funds, government purpose rights when the data were created with

L0:mixed funding, and limited rights when the data were created exclusively at private

L0:expense.

L1:(b) Source of funds determination. (1) Agencies should make the determination of

L0:the source of development funds for technical data related to items, components, or

L0:processes at any practical sub-item or subcomponent level or for any segregable portion

L0:of a process. Contractors may assert limited rights in a segregable sub-item, sub-

L0:component, or portion of a process which otherwise qualifies for limited rights under the

L0:clause at 252.227-7989, Rights in Technical Data, Computer Software, and Computer

L0:Software Documentation?Other Than Commercial Products and Commercial Services.
 L1:(2) Agencies should make the determination of the source of funds used to
 L0:develop computer software at the lowest practicable segregable portion of the software
 L0:or documentation (e.g., a software sub-routine that performs a specific function).
 L0:Contractors may assert restricted rights in a segregable portion of computer software
 L0:which otherwise qualifies for restricted rights.

227.7103-5 Government rights

Status: active

L0:227.7103-5 Government rights.
 L0:The standard license rights that a licensor grants to the Government are unlimited
 L0:rights, government purpose rights, limited rights, or restricted rights. In unusual
 L0:situations, the standards rights may not satisfy the Government?s needs, or the
 L0:Government may be willing to accept lesser rights in data or computer software in
 L0:return for other consideration. In those cases, a special license may be negotiated.
 L0:However, the licensor is not obligated to provide the Government greater rights, and
 L0:the contracting officer is not required to accept lesser rights than the rights provided in
 L0:the standard grant of license. The situations under which a particular grant of license
 L0:applies are listed in paragraphs (a) through (d) of this section.
 L1:(a) Unlimited rights. The Government obtains unlimited rights in technical data,
 L0:computer software, or computer software documentation that are?
 L1:(1) Technical data related to an item, component, or process which has been or
 L0:will be developed exclusively with Government funds;
 L1:(2) Studies, analyses, test data, or similar data produced in the performance of
 L0:a contract when the study, analysis, test, or similar work was specified as an element of
 L0:performance;
 L1:(3) Created exclusively with Government funds in the performance of a contract
 L0:that does not require the development, manufacture, construction, or production of
 L0:items, components, or processes;
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
 L0:Defense FAR Supplement (DFARS) Part 227
 L1:(4) Form, fit, and function data;
 L1:(5) Necessary for installation, operation, maintenance, or training purposes
 L0:(other than detailed manufacturing or process data);
 L1:(6) Corrections or changes to?
 L1:(i) Government-furnished technical data; or
 L1:(ii) Government-furnished computer software or computer software
 L0:documentation;
 L1:(7) Technical data, computer software, or computer software documentation
 L0:that?
 L1:(i) Is publicly available; or
 L1:(ii) Was previously released or disclosed by the contractor or subcontractor
 L0:without restrictions on further use, release or disclosure other than a release or

L0:disclosure resulting from?

L0:data or computer software to another party; or

L1:(A) The sale, transfer, or other assignment of interest in the technical

L0:another party;

L1:(B) The sale or transfer of some or all of a business entity or its assets to

L1:(8) Technical data, computer software, or computer software documentation in

L0:which the Government has obtained unlimited rights under another Government

L0:contract or as a result of negotiations; or

L1:(9) Technical data, computer software, or computer software documentation

L0:furnished to the Government, under a Government contract or subcontract , with?

L1:(i) Restricted rights in computer software, limited rights in technical data,

L0:or government purpose license rights and the restrictive conditions have expired; or

L1:(ii) Government purpose rights and the contractor's exclusive right to use

L0:such technical data or computer software for commercial purposes has expired.

L1:(10) Computer software developed exclusively with Government funds; or

L1:(11) Computer software documentation the contractor must deliver under a

L0:Government contract.

L1:(b) Government purpose rights. (1) The Government obtains government purpose

L0:rights in?

L1:(i) Technical data related to items, components, or processes developed with

L0:mixed funding except when the Government is entitled to unlimited rights as provided

L0:in paragraphs (a)(2) and (a)(4) through (9) of this section; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(ii) Technical data created with mixed funding in the performance of a

L0:contract that does not require the development, manufacture, construction, or

L0:production of items, components, or processes; or

L1:(iii) Computer software developed with mixed funding.

L1:(2) The period during which government purpose rights are effective is

L0:negotiable. A five year period is nominal. Either the Government or the contractor may

L0:request a different period.

L1:(3) The government purpose rights period begins upon execution of the contract,

L0:subcontract, or similar contractual instrument that required the development. Upon

L0:expiration of the Government rights period, the Government has unlimited rights in the

L0:data or software including the right to authorize others to use the data or software for

L0:commercial purposes.

L1:(4) During the government purpose rights period, the Government may not use,

L0:or authorize other persons to use, technical data or computer software marked with

L0:government purpose rights legends for commercial purposes. The Government will not

L0:release or disclose data or software in which it has government purpose rights to any

L0:person, or authorize others to do so, unless?

L1:(i) Prior to release or disclosure, the intended recipient is subject to the use

L0:and nondisclosure agreement at 227.7103-7; or

L1:(ii) The intended recipient is a Government contractor receiving access to

L0:the data or software for performance of a Government contract that contains the clause

L0:at 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished

L0:Information Marked with Restrictive Legends.

L1:(5) When the Government will release or disclose technical data or computer

L0:software marked with government purpose rights legends to a contractor performing

L0:under a contract that does not include the clause at 252.227-7994, modify the contract

L0:prior to release or disclosure, to include that clause in lieu of requiring the contractor to

L0:complete a use and nondisclosure agreement.

L2:(6)(i) Agencies must establish procedures to prevent the release or disclosure of

L0:marked technical data or computer software with government purpose rights legends to

L0:entities that are not subject to use and disclosure restrictions. .

L1:(ii) Public announcements in the System for Award Management or other

L0:publications must provide notice of the use and nondisclosure requirements.

L1:(iii) Consider using class use and nondisclosure agreements (e.g.,

L0:agreements covering all solicitations received by the XYZ company within a reasonable

L0:period). Enter into class agreements at any time prior to release or disclosure of the

L0:government purpose rights data or software. Documents transmitting government

L0:purpose rights data or software to persons under class agreements must identify the

L0:technical data or computer software subject to government purpose rights and the class

L0:agreement providing such data or software.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(c) Limited rights. (1) The Government obtains limited rights in technical data?

L1:(i) Related to items, components, or processes developed exclusively at

L0:private expense except when the Government is entitled to unlimited rights as provided

L0:in paragraphs (a)(2) and (a)(4) through (9) of this section; or

L1:(ii) Created exclusively at private expense in the performance of a contract

L0:that does not require the development, manufacture, construction, or production of

L0:items, components, or processes.

L1:(2) Do not use, release, or disclose data in which the Government has limited

L0:rights outside the Government without the permission of the contractor asserting the

L0:restriction except when it is?

L1:(i) Necessary for emergency repair and overhaul;

L1:(ii) To a covered Government support contractor; or

L1:(iii) To a foreign government, other than detailed manufacturing or process

L0:data, when use, release, or disclosure is in the interest of the United States and is

L0:required for evaluational or informational purposes.

L1:(3) The Government must notify the person asserting limited rights of its intent

L0:to release, disclose, or authorize others to use such data prior to release or disclosure of

L0:the data, except for emergency repair or overhaul. For emergency repair or overhaul,

L0:the Government will make the notification as soon as practicable.

L1:(4) If the person asserting limited rights permits the Government to release,

L0:disclose, or have others use the data subject to restrictions on further use, release, or

L0:disclosure, or for a release under paragraph (c)(2)(i), (ii), or (iii) of this section, the

L0:intended recipient must, prior to receiving the limited rights data, either?

L1:(i) Complete the use and nondisclosure agreement at 227.7103-7; or

L1:(ii) Be performing under a Government contract that contains the clause at

L0:252.227-7994.

L1:(d) Restricted rights. (1) The Government obtains restricted rights in other than

L0:commercial computer software the contractor must deliver or otherwise provide to the

L0:Government under a contract that was developed exclusively at private expense.

L2:(2)(i) Contractors are not required to provide the Government additional rights

L0:in computer software delivered or otherwise provided to the Government with restricted

L0:rights.

L1:(ii) When the Government has a need for additional rights, negotiate with

L0:the contractor to determine acceptable terms for transferring such rights. Any resulting

L0:license agreement, made part of the contract (see paragraph (e) of this section), must

L0:list or describe all software for which the contractor has granted the Government

L0:additional rights, and specify the additional rights granted.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(e) Specifically negotiated license rights. (1)(i) Negotiate specific licenses when the

L0:parties agree to modify the standard license rights granted to the Government or when

L0:the Government needs to obtain rights in data or software in which it does not have

L0:rights.

L1:(ii) When negotiating to obtain, relinquish, or increase the Government's

L0:rights in technical data, consider the acquisition strategy for the item, component, or

L0:process, including logistics support and other factors relevant to a particular

L0:procurement.

L1:(iii) When negotiating to obtain, relinquish, or increase the Government's

L0:rights in computer software, consider the planned software maintenance philosophy,

L0:anticipated time or user sharing requirements, and other factors relevant to a

L0:particular procurement.

L1:(iv) The Government may accept lesser rights when it has unlimited or

L0:government purpose rights in data or software but may not accept less than limited

L0:rights or restricted rights in such data or software, respectively.

L1:(v) The negotiated license rights must stipulate what rights the

L0:Government has to release or disclose the data or software to other persons or to

L0:authorize others to use the data or software.

L1:(vi) Identify all negotiated rights in a license agreement that are made part

L0:of the contract.

L2:(2)(i) When the Government needs additional rights in data or software

L0:acquired with government purpose, limited rights, or restricted rights, negotiate with

L0:the contractor to determine acceptable terms for transferring such rights. Generally,

L0:conduct such negotiations only when?

L0:Government; or

L1:(A) A need exists to disclose the data or software outside the

L1:(B) The additional rights are required for competitive procurement

L0:and the anticipated savings through competition will likely exceed the acquisition cost

L0:of the additional rights.

L1:(ii) Prior to negotiating for additional rights in limited rights data, consider

L0:alternatives such as?

L0:acquire or develop functionally equivalent items, components, or processes;

L1:(A) Using performance specifications and form, fit, and function data to

L0:additional sources and maintain adequate competition among the sources; or

L1:(B) Obtaining a contractor's contractual commitment to qualify

L1:(C) Reverse engineering, or providing items from Government

L0:inventories to contractors who request the items to facilitate the development of

L0:equivalent items through reverse engineering.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

227.7103-6 Solicitation provisions and contract clauses

Status: active

L0:227.7103-6 Solicitation provisions and contract clauses.

L2:(a)(1) Insert the clause at 252.227-7989, Rights in Technical Data, Computer

L0:Software, and Computer Software Documentation?Other Than Commercial Products

L0:and Commercial Services, in solicitations and contracts, including solicitations and

L0:contracts using FAR part 12 procedures, when the contract requires delivery of

L0:technical data?

L1:(i) Related to other than commercial products or commercial services; or

L1:(ii) Related to commercial products or commercial services for which the

L0:Government will have paid for any portion of the development costs. For such

L0:contracts?

L1:(A) The clause at 252.227-7989 will govern the technical data related to

L0:any portion of a commercial product or commercial service that was developed in any

L0:part at Government expense; and

L1:(B) The clause at 252.227-7990will govern the technical data related to

L0:any portion of a commercial product or commercial service that was developed

L0:exclusively at private expense.

L1:(2) Do not use the clause when the only deliverable items are commercial

L0:products or commercial services developed exclusively at private expense (see 227.7102-

L0:4), existing works (see 227.7105), or special works (see 227.7106).

L1:(3) When contracting under the Small Business Innovation Research (SBIR)

L0:Program or the Small Business Technology Transfer (STTR) Program, see 227.7104-

L0:4(a).

L2:(b)(1) Insert the clause at 252.227-7989 with its Alternate I in research solicitations

L0:and contracts, including research solicitations and contracts using FAR part 12

L0:procedures for the acquisition of commercial products and commercial services, upon

L0:determining that public dissemination by the contractor would be?

L1:(i) In the interest of the government; and

L1:(ii) Facilitated by the Government relinquishing its right to publish the

L0:work for sale, or to have others publish the work for sale on behalf of the Government.

L1:(2) Insert the clause at 252.227-7989 with its Alternate II in solicitations and

L0:contracts, including solicitations and contracts using FAR part 12 procedures for the
L0:acquisition of commercial products and commercial services, for the development or
L0:delivery of a vessel design or any useful article embodying a vessel design.

L1:(c) Insert the clause at 252.227-7989 in solicitations and contracts when the contract
L0:will require the successful offeror to deliver other than commercial computer software
L0:or other than commercial computer software documentation.

L1:(d) [Reserved]

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(e) Insert the clause at 252.227-7994, Limitations on the Use or Disclosure of

L0:Government Furnished Information Marked with Restrictive Legends, in solicitations

L0:and contracts if the Government anticipates providing the contractor, other than a

L0:litigation support contractor, technical data marked with another contractor's

L0:restrictive legend for performance of its contract.

L1:(f) Insert the provision at 252.227-7028, Technical Data or Computer Software

L0:Previously Delivered to the Government, in solicitations when the resulting contract

L0:will require the contractor to deliver technical data.

L1:(g) Insert the following provisions and clauses in solicitations and contracts that

L0:include the clause at 252.227-7989:

L1:(1) 252.227-7991, Rights in Bid or Proposal Information.

L1:(2) 252.227-7992, Identification and Assertion of Use, Release, or Disclosure

L0:Restrictions.

L1:(3) 252.227-7996, Technical Data?Withholding of Payment.

L1:(4) 252.227-7997, Validation of Asserted Restrictions (paragraph (e) of the

L0:clause contains information that must be included in a challenge).

L1:(h) Insert the clause at 252.227-7995, Deferred Ordering of Technical Data or

L0:Computer Software, when a potential need exists for technical data, computer software

L0:or computer software documentation, but a firm requirement for the particular data

L0:item is not established prior to contract award.

227.7103-7 Use and nondisclosure agreement

Status: active

L0:227.7103-7 Use and nondisclosure agreement.

L1:(a) Except as provided in paragraph (b) of this section, agencies may not provide

L0:technical data or computer software delivered to the Government with restrictions on

L0:use, modification, reproduction, release, performance, display, or disclosure to third

L0:parties, until the intended recipient completes and signs the use and nondisclosure

L0:agreement at paragraph (c) of this section.

L1:(1) In an attachment to the use and nondisclosure agreement, the Government

L0:must stipulate the specific conditions under which an intended recipient will be

L0:authorized to use, modify, reproduce, release, perform, display, or disclose technical

L0:data or computer software subject to limited rights, restricted rights, or SBIR/STTR

L0:data rights.

L1:(2) Modify paragraph (1)(d) of the use and nondisclosure agreement in
L0:paragraph (c) of this section to enter the conditions for an intended release, disclosure or
L0:authorized use of technical data or computer software subject to special license rights,
L0:consistent with the license requirements, governing the recipient's obligations regarding
L0:use, modification, reproduction, release, performance, display, or disclosure of the data
L0:or software.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(b) Requirements for use and nondisclosure agreements does not apply to

L0:Government contractors needing access to a third party's data or software for the

L0:performance of a Government contract that contains the clause at 252.227-7994,

L0:Limitations on the Use or Disclosure of Government-Furnished Information Marked

L0:with Restrictive Legends.

L1:(c) The prescribed use and nondisclosure agreement is:

L0:Use and NonDisclosure Agreement

L0:The undersigned, _____ (Insert Name) _____, an authorized

L0:representative of the _____ (Insert Company Name) _____,

L0:(which is hereinafter referred to as the "Recipient") requests the Government to provide

L0:the Recipient with technical data or computer software (hereinafter referred to as

L0:"Data") in which the Government's use, modification, reproduction, release,

L0:performance, display or disclosure rights are restricted. Those Data are identified in an

L0:attachment to this Agreement. In consideration for receiving such Data, the Recipient

L0:agrees to use the Data strictly in accordance with this Agreement:

L1:(1) The Recipient shall?

L1:(a) Use, modify, reproduce, release, perform, display, or disclose Data marked with

L0:government purpose rights or SBIR/STTR data rights legends (after expiration of the

L0:SBIR/STTR data protection period provided in the SBIR/STTR data rights legend) only

L0:for government purposes and shall not do so for any commercial purpose. The Recipient

L0:shall not release, perform, display, or disclose these Data, without the express written

L0:permission of the contractor whose name appears in the restrictive legend (the

L0:"Contractor"), to any person other than its subcontractors or suppliers, or prospective

L0:subcontractors or suppliers, who require these Data to submit offers for, or perform,

L0:contracts with the Recipient. The Recipient shall require its subcontractors or

L0:suppliers, or prospective subcontractors or suppliers, to sign a use and nondisclosure

L0:agreement prior to disclosing or releasing these Data to such persons. Such agreement

L0:must be consistent with the terms of this agreement.

L1:(b) Use, modify, reproduce, release, perform, display, or disclose technical data marked

L0:with limited rights legends or SBIR/STTR data rights legends only as specified in the

L0:attachment to this Agreement. Release, performance, display, or disclosure to other

L0:persons is not authorized unless specified in the attachment to this Agreement or

L0:expressly permitted in writing by the Contractor. The Recipient shall promptly notify

L0:the Contractor of the execution of this Agreement and identify the Contractor's Data

L0:that has been or will be provided to the Recipient, the date and place the Data were or

L0:will be received, and the name and address of the Government office that has provided

L0:or will provide the Data.

L1:(c) Use computer software marked with restricted rights or SBIR/STTR data rights legends only in performance of Contract Number ____ [insert contract number(s)]. The recipient shall not, for example, enhance, decompile, disassemble, or reverse engineer the software; time share, or use a computer program with more than one computer at a time. The recipient may not release, perform, display, or disclose such software to others unless expressly permitted in writing by the licensor whose name appears in the restrictive legend. The Recipient shall promptly notify the software licensor of the Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27 Defense FAR Supplement (DFARS) Part 227 execution of this Agreement and identify the software that has been or will be provided to the Recipient, the date and place the software were or will be received, and the name and address of the Government office that has provided or will provide the software.

L1:(d) Use, modify, reproduce, release, perform, display, or disclose Data marked with special license rights legends. [To be completed by the contracting officer. See 227.7103-7(a)(2). Omit if none of the data requested is marked with special license rights legends.]

L1:(2) The Recipient agrees to adopt or establish operating procedures and physical security measures designed to protect these Data from inadvertent release or disclosure to unauthorized third parties.

L1:(3) The Recipient agrees to accept these Data ?as is? without any Government representation as to suitability for intended use or warranty whatsoever. This disclaimer does not affect any obligation the Government may have regarding Data specified in a contract for the performance of that contract.

L1:(4) The Recipient may enter into any agreement directly with the Contractor with respect to the use, modification, reproduction, release, performance, display, or disclosure of these Data.

L1:(5) The Recipient agrees to indemnify and hold harmless the Government, its agents, and employees from every claim or liability, including attorneys? fees, court costs, and expenses arising out of, or in any way related to, the misuse or unauthorized modification, reproduction, release, performance, display, or disclosure of Data received from the Government with restrictive legends by the Recipient or any person to whom the Recipient has released or disclosed the Data.

L1:(6) The Recipient is executing this Agreement for the benefit of the Contractor. The Contractor is a third party beneficiary of this Agreement who, in addition to any other rights it may have, is intended to have the rights of direct action against the Recipient or any other person to whom the Recipient has released or disclosed the Data, to seek damages from any breach of this Agreement or to otherwise enforce this Agreement.

L1:(7) The Recipient agrees to destroy these Data, and all copies of the Data in its possession, no later than 30 days after the date shown in paragraph (8) of this Agreement, to have all persons to whom it released the Data do so by that date, and to notify the Contractor that the Data have been destroyed.

L1:(8) This Agreement shall be effective for the period commencing with the Recipient?s execution of this Agreement and ending upon _____ (Insert Date) _____. The obligations imposed by this Agreement shall survive the expiration or termination of the Agreement.

L0:Recipient's Business Name _____

L0:By _____

L0:Authorized Representative _____

L0:Date

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:Representative's Typed Name _____

L0:and Title _____

L0:(End of use and nondisclosure agreement)

227.7103-8 Deferred ordering of technical data

Status: active

L0:227.7103-8 Deferred ordering of technical data.

L0:Order as necessary any technical data, computer software or computer software

L0:documentation generated in the performance of the contract or subcontract at any time

L0:until three years after acceptance of all items (other than technical data or computer

L0:software) under the contract or contract termination, whichever is later. See the clause

L0:at 252.227-7995, Deferred Ordering of Technical Data or Computer Software.

227.7103-9 Copyright

Status: active

L0:227.7103-9 Copyright.

L1:(a) Copyright license. (1) Contractors are required to grant or obtain for the

L0:Government license rights permitting the Government to reproduce data, distribute

L0:copies of the data, software, or software documentation, publicly perform or display the

L0:data, software, or software documentation or, through the right to modify data, prepare

L0:derivative works. The extent to which the Government, and others acting on its behalf,

L0:may exercise these rights varies for each of the standard data rights licenses obtained

L0:under the contract. When negotiating non-standard license rights in technical data or

L0:computer software, negotiate the extent of the copyright license as a part of the

L0:negotiations for the data rights license. Do not negotiate a copyright license that

L0:provides less rights than the standard limited rights license in technical data or

L0:restricted rights license in computer software.

L1:(2) Contractors are not permitted to incorporate a third party's copyrighted data

L0:into a deliverable data or software item unless the contractor has obtained an

L0:appropriate license for the Government and, when applicable, others acting on the

L0:Government's behalf. Grant approval to use third-party copyrighted data or software in

L0:which the Government will not receive a copyright license only when the Government's

L0:requirements cannot be satisfied without the third-party material or when the use of

L0:the third-party material will result in cost savings to the Government which outweigh

L0:the lack of a copyright license.

L1:(b) Copyright considerations?acquisition of existing and special works. See

227.7105 Contracts for the acquisition of existing works

Status: active

L0:227.7105 Contracts for the acquisition of existing works.

227.7103-10 Contractor identification and marking of technical data or

Status: active

L0:227.7103-10 Contractor identification and marking of technical data or

L0:computer software to be delivered with restrictive markings.

L1:(a) Contractor marking requirements. Contractors are required to?

L1:(1) Place restrictive markings on the data or software, provide instructions for

L0:the placement of the restrictive markings, and authorize the use of certain restrictive

L0:markings when restricting the Government's rights in technical data or computer

L0:software; and

L1:(2) Deliver, furnish, or otherwise provide to the Government any technical data

L0:or computer software in which the Government has previously obtained rights with the

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:Government's preexisting rights in that data or software, unless restrictions on the

L0:Government's rights have expired. When restrictions still apply, the contractor is

L0:permitted to mark the data or software with the appropriate restrictive legend for

L0:which the data or software qualified.

L1:(b) Unmarked technical data. (1) Presume technical data or computer software

L0:delivered or otherwise provided with unlimited rights under a contract without

L0:restrictive markings may be released or disclosed without restriction. To the extent

L0:practicable, if a contractor has requested permission (see paragraph (b)(2) of this

L0:section) to correct an inadvertent omission of markings, do not release or disclose the

L0:technical data or computer software pending evaluation of the request.

L1:(2) A contractor may request permission to have appropriate legends placed on

L0:unmarked technical data or computer software at its expense. The request must be

L0:received by the contracting officer within 6 months following the furnishing or delivery

L0:of such data or software, or any extension of that time approved by the contracting

L0:officer. The person making the request must:

L1:(i) Identify the technical data or computer software that should have been

L0:marked;

L1:(ii) Demonstrate that the omission of the marking was inadvertent, the

L0:proposed marking is justified and conforms with the requirements for the marking of

L0:technical data or computer software contained in the contract; and

L1:(iii) Acknowledge, in writing, that the Government has no liability with

L0:respect to any disclosure, reproduction, or use of the technical data or computer

L0:software made prior to the addition of the marking or resulting from the omission of the

L0:marking.

L1:(3) Contracting officers should grant permission to mark only if the technical

L0:data or computer software were not distributed outside the Government or were
L0:distributed outside the Government with restrictions on further use or disclosure.

227.7103-11 Contractor procedures and records

Status: active

L0:227.7103-11 Contractor procedures and records.

L1:(a) Contractors, and their subcontractors or suppliers that will deliver technical

L0:data or computer software with other than unlimited rights, are required to establish

L0:and follow written procedures to assure that restrictive markings are used only when

L0:authorized and to maintain records to justify the validity of asserted restrictions on

L0:delivered data or software.

L1:(b) Contractors are required to maintain sufficient records to justify the validity of

L0:restrictive markings on technical data or computer software the contractor must deliver

L0:under a Government contract.

227.7103-12 Government right to establish conformity of markings

Status: active

L0:227.7103-12 Government right to establish conformity of markings.

L1:(a) Nonconforming markings. (1) The marking requirements in the applicable

L0:clauses prescribe the content and format of authorized markings on technical data and

L0:computer software. All other markings are nonconforming markings. An authorized

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:marking that is not in the form, or differs in substance, from the marking requirements

L0:in the clauses at 252.227-7989 and 252.227-7993 is also a nonconforming marking.

L1:(2) Notify the contractor or offeror of technical data or computer software

L0:bearing nonconforming markings to provide that person an opportunity to correct or

L0:strike the nonconforming marking at that person's expense. If the contractor or offeror

L0:fails to correct the nonconformity and deliver the corrected data within 60 days

L0:following the person's receipt of the data or software, the contracting officer may correct

L0:or strike the nonconformity at that person's expense. Prior to correction, the

L0:Government may use the data in accordance with the proper restrictive marking.

L1:(b) Unjustified markings. (1) An unjustified marking is an authorized marking

L0:that does not accurately depict restrictions applicable to the Government's use,

L0:modification, reproduction, release, performance, display, or disclosure of the marked

L0:technical data or computer software. Accordingly, a limited rights legend placed on

L0:technical data related to items, components, or processes developed under a

L0:Government contract either exclusively at Government expense or with mixed funding

L0:(situations under which the Government obtains unlimited or government purpose

L0:rights) is an unjustified marking. Similarly, a restricted rights legend placed on

L0:computer software developed under a Government contract either exclusively at

L0:Government expense or with mixed funding is an unjustified marking.

L1:(2) The contracting officer has the right to review and challenge the validity of L0:unjustified markings. However, at any time during performance of a contract and L0:notwithstanding existence of a challenge, the contracting officer and the person who has L0:asserted a restrictive marking may agree that the restrictive marking is not justified. L0:Upon such agreement, the contracting officer may either?

L1:(i) Strike or correct the unjustified marking at that person's expense; or

L1:(ii) Instruct the person asserting the restriction to correct the technical data L0:or computer software at that person's expense. If the person fails to correct or strike the L0:unjustified restriction and deliver the corrected data or software to the contracting L0:officer within 60 days following this instruction, strike or correct the unjustified L0:marking at that person's expense.

227.7103-13 Government right to review, verify, challenge, and validate

Status: active

L0:227.7103-13 Government right to review, verify, challenge, and validate L0:asserted restrictions.

L1:(a) General. (1) An offeror's assertion of restrictions on the Government's rights to L0:use, modify, reproduce, release, or disclose technical data or computer software do not, L0:by themselves, determine the extent of the Government's rights in the technical data or L0:computer software.

L1:(2) Review asserted restrictions before acceptance of technical data and L0:computer software deliverables under a contract.

L1:(3) The contracting officer may challenge asserted restrictions when reasonable L0:grounds exist to believe an assertion is not valid.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227

L1:(b) Pre-award considerations. See 227.7103-3(a) for guidance on pre-award review L0:of asserted restrictions.

L1:(c) Challenge considerations and presumption.

L1:(1) Requirements to initiate a challenge. (i) Contracting officers must have L0:reasonable grounds to challenge the validity of an asserted restriction. Before issuing a L0:challenge to an asserted restriction, carefully consider all available information related L0:to the assertion.

L1:(ii) A need for additional license rights is not, by itself, a sufficient basis for L0:requesting information concerning an asserted restriction.

L1:(iii) Follow the procedures at 227.7103-5(e) when the Government needs L0:additional license rights but has no grounds to challenge an asserted restriction.

L1:(2) Commercial products and commercial services?presumption regarding L0:development exclusively at private expense.

L1:(i) Presume that a commercial product or commercial service was developed L0:exclusively at private expense whether or not a contractor or subcontractor submits a L0:justification in response to a challenge notice. Under 10 U.S.C. 3772(a)(1) and 3784, L0:there is a presumption and procedures regarding validation of asserted restrictions for

L0:technical data related to commercial products or commercial services on the basis of
L0:development exclusively at private expense.

L1:(ii) Do not challenge a contractor's assertion that a commercial product or

L0:commercial service was developed exclusively at private expense unless the

L0:Government can specifically state the reasonable grounds to question the validity of the

L0:assertion. The challenge notice must include sufficient information to demonstrate that

L0:the commercial product or commercial service was not developed exclusively at private

L0:expense. To sustain the challenge, provide information demonstrating that the

L0:commercial product or commercial service was not developed exclusively at private

L0:expense.

L1:(ii) The challenge notice and all related correspondence are subject to

L0:handling procedures for classified information and controlled unclassified information.

L1:(iv) A contractor's or subcontractor's failure to respond to the challenge

L0:notice cannot be the sole basis for issuing a final decision denying the validity of an

L0:asserted restriction.

L1:(d) Challenge and validation.

L1:(1) Challenge period. Review asserted restrictions before acceptance of

L0:technical data or computer software deliverable under the contract. Challenge

L0:assertions within six years after final payment under the contract or six years after

L0:delivery of the data or software, whichever is later. There is no time limit for

L0:challenging restrictive markings if the technical data or computer software?

L1:(i) Are publicly available without restrictions;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(ii) Have been provided to the United States without restriction;

L1:(iii) Have been otherwise made available without restriction other than a

L0:release or disclosure resulting from the sale, transfer, or other assignment of interest in

L0:the technical data or computer software to another party or the sale or transfer of some

L0:or all of a business entity or its assets to another party; or

L1:(iv) Is the subject of a fraudulently asserted use or release restriction.

L1:(2) Pre-challenge requests for information.

L1:(i) Contracting officers may request the person asserting a restriction to

L0:furnish a written explanation of the facts and supporting documentation for the

L0:assertion in detail to enable the contracting officer to determine the basis of the

L0:restrictive markings. Request additional supporting documentation when the

L0:explanation does not, in the contracting officer's opinion, establish the validity of the

L0:assertion.

L1:(ii) Consider challenging the assertion when?

L0:contracting officer's request for information or additional supporting documentation; or

L1:(A) The person asserting the restriction fails to respond to the

L0:related to the validity of a restrictive marking, does not justify the asserted restriction.

L1:(B) The information submitted, or any other available information

L1:(3) Transacting matters directly with subcontracts. Contracting officers should

L0:permit, after obtaining the contractor's agreement, a subcontractor or supplier to

L0:transact challenge and validation matters directly with the Government when?

L1:(i) A subcontractor's or supplier's business interests in its technical data or
L0:computer software would be compromised if the data were disclosed to a higher tier
L0:contractor;

L1:(ii) The contractor will unlikely respond in a timely manner to a challenge,
L0:and an untimely response would jeopardize a subcontractor's or suppliers right to assert
L0:restrictions; or

L1:(iii) A subcontractor or supplier requests it.

L1:(4) Challenge notice.

L1:(i) Do not issue a challenge notice unless reasonable grounds exist to
L0:question the validity of an assertion. For commercial products or commercial services,
L0:also see paragraph (c)(2) of this section.

L1:(ii) No requirement exists to request information under paragraph (d)(2) of
L0:this section before issuing a challenge.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227

L1:(iii) Issue challenge notices, in writing, to the contractor or, after
L0:consideration of the situations described in paragraph (d)(3) of this section, the person
L0:asserting the restriction. See PGI 227.7103-13(d)(4)(iii) for procedures regarding
L0:challenge notices.

L1:(5) Extension of response time. If the contractor submits a written request for
L0:additional time to prepare a response, the contracting officer will extend the time for
L0:response as appropriate, in accordance with paragraph (f)(2) of the clause at 252.225-

L0:7999.

L1:(6) Contracting officer's final decision. Issue a final decision for each challenged
L0:assertion, whether or not the contractor justified the assertion.

L1:(i) Failure to respond. If the person asserting the restriction fails to
L0:respond to the challenge within 60 days or any extension of time the contracting officer
L0:granted, issue a final decision that the assertion is not justified as soon as practicable.

L1:(ii) Assertion justified. If the assertion is determined to be justified based on
L0:the response to the challenge notice, issue the final decision sustaining the validity of
L0:the restriction. The contracting officer will issue this final decision within 60 days after
L0:receipt of the response to the challenge notice, or within a longer period that the
L0:contracting officer has notified the contractor or subcontractor that the Government will
L0:require. The contracting officer will provide notification of any longer period for
L0:issuance of a final decision within 60 days after receipt of the response to the challenge
L0:notice. The Contracting Officer will provide notification of any longer period for
L0:issuance of a final decision within 60 days after receipt of the response to the challenge
L0:notice. If the contractor made the asserted restriction subsequent to submitting its
L0:offer, then add the asserted restriction to the contract attachment.

L1:(iii) Assertion not justified. If the assertion is determined not to be justified
L0:based on the information provided, issue a final decision. The decision must be issued
L0:within 60 days after receipt of the response to the challenge notice, or within a longer
L0:period that the contracting officer has notified the contractor or subcontractor that the
L0:Government will require. The Contracting Officer will provide notification of any longer
L0:period for issuance of a final decision within 60 days after receipt of the response to the

L0:challenge notice. As provided in paragraph (h) of the clause, the Government is
 L0:obligated to continue to respect the asserted restrictions through final disposition of any
 L0:appeal unless the agency head notifies the person asserting the restriction that urgent
 L0:or compelling circumstances dictate otherwise.

L1:(7) Multiple challenges to an asserted restriction. When more than one
 L0:contracting officer challenges an asserted restriction, the contracting officer who made
 L0:the earliest challenge is responsible for coordinating the Government challenges. That
 L0:contracting officer must consult with all other contracting officers making challenges,
 L0:verify that all challenges apply to the same asserted restriction and, after consulting
 L0:with the contractor, subcontractor, or supplier asserting the restriction, issue a schedule
 L0:that provides that person a reasonable opportunity to respond to each challenge.

L1:(8) Validation. Only a contracting officer's final decision, actions of an agency
 L0:board of contract appeals, or a court of competent jurisdiction sustaining the validity of
 L0:an asserted restriction, constitutes validation of the asserted restriction.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

227.7103-14 Conformity, acceptance, and warranty of technical data and

Status: active

L0:227.7103-14 Conformity, acceptance, and warranty of technical data and
 L0:computer software.

L1:(a) [Reserved]

L1:(b) Conformity and acceptance. (1) Solicitations and contracts requiring the
 L0:delivery of technical data, including computer software documentation, must specify the
 L0:requirements that the data must satisfy to be acceptable. Contracting officers, or their
 L0:authorized representatives, are responsible for determining whether technical data
 L0:tendered for acceptance conform to the contractual requirements.

L1:(2) The clause at 252.227-7996, Technical Data?Withholding of Payment,
 L0:provides for withholding up to 10 percent of the contract price pending either correction
 L0:or replacement of the nonconforming technical data, or negotiation of an equitable
 L0:reduction in contract price. The amount subject to withholding may be expressed as a
 L0:fixed dollar amount or as a percentage of the contract price. In either case, consider the
 L0:relative value and importance of the data when determining the amount.

L1:(3) Do not accept technical data that do not conform to the contractual
 L0:requirements in all respects. Except for nonconforming restrictive markings (see
 L0:paragraph (b)(4) of this section), require correction or replacement of nonconforming
 L0:data (or an equitable reduction in contract price when correction or replacement of the
 L0:nonconforming data is not practicable or is not in the Government's interests) in
 L0:accordance with?

L1:(i) The provisions of a contract clause providing for inspection and
 L0:acceptance of deliverables and remedies for nonconforming deliverables; or

L1:(ii) The procedures at FAR 46.407(c) through (g), if the contract does not
 L0:contain an inspection clause providing remedies for nonconforming deliverables.

L1:(4) Follow the procedures at 227.7103-12(a)(2) if nonconforming markings are
L0:the sole reason technical data fail to conform to contractual requirements. The
L0:contracting officer may withhold an amount for payment, consistent with the terms of
L0:the clause at 252.227-7996, pending correction of the nonconforming markings.

L2:(5)(i) Specify, in solicitations and contracts requiring the delivery of computer
L0:software, requirements the software must satisfy to be acceptable under the contract.

L1:(ii) Contracting officers, or their authorized representatives, are responsible
L0:for determining whether computer software tendered for acceptance conforms to the
L0:contractual requirements.

L1:(iii) Except for nonconforming restrictive markings, do not accept software
L0:that does not conform in all respects to applicable contractual requirements. However,
L0:follow the procedures at 227.7103-12(a) if nonconforming markings are the sole reason
L0:computer software tendered for acceptance fails to conform to contractual requirements.

L1:(iv) Require correction or replacement of nonconforming software (or an
L0:equitable reduction in contract price when correction or replacement of the
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227
L0:nonconforming data is not practicable or is not in the Government's interests) in
L0:accordance with?
L0:acceptance of deliverables and remedies for nonconforming deliverables; or

L1:(A) The provisions of a contract clause providing for inspection and
L1:(B) The procedures at FAR part 46.407(c) through (g), if the contract
L0:does not contain an inspection clause providing remedies for nonconforming
L0:deliverables.

L1:(c) Warranty. (1) Consider the intended use of the technical data (including repair
L0:and maintenance) and the costs to obtain the warranty before deciding to obtain a data
L0:warranty (see FAR part 46).

L1:(2) As prescribed in 246.710, insert the clause at 252.246-7001, Warranty of
L0:Data, and its alternates, or a substantially similar clause when the Government needs a
L0:specific warranty of technical data.

L1:(3) Warranties for Computer Software. (i) Weapon systems. Computer software
L0:that is a component of a weapon system or major subsystem should be warranted as
L0:part of the weapon system warranty. Follow the procedures at 246.7.

L1:(ii) Non-weapon systems. The contracting officer must approve use of a
L0:computer software warranty other than a weapon system warranty. Consider the
L0:factors at FAR 46.703 when deciding whether to obtain a computer software warranty.
L0:When approval for a warranty is obtained, modify the clause at 252.246-7001, Warranty
L0:of Data, and its alternates, as necessary for use with computer software.

227.7103-15 Subcontractor rights in technical data, computer software, or

Status: active

L0:227.7103-15 Subcontractor rights in technical data, computer software, or
L0:computer software documentation.

L1:(a) Subcontractors and suppliers at all tiers should receive the same protection for
L0:their rights in technical data, computer software or computer software documentation
L0:as are provided to prime contractors (10 U.S.C. 3771).

L1:(b) When a subcontractor or supplier exercises its right to transact validation
L0:matters directly with the Government, contracting officers must deal directly with such
L0:persons, as provided at 227.7103-13(d)(3) (10 U.S.C. 3782).

L1:(c) Require prime contractors whose contracts include the following clauses to
L0:include those clauses, without modification except for appropriate identification of the
L0:parties, in contracts with subcontractors or suppliers, at all tiers, if furnishing technical
L0:data for other than commercial products or commercial services or other than
L0:commercial computer software in response to a Government requirement:

L1:(1) 252.227-7989, Rights in Technical Data, Computer Software, and Computer
L0:Software Documentation?Other Than Commercial Products and Commercial Services.

L1:(2) 252.227-7994, Limitations on the Use or Disclosure of Government-
L0:Furnished Information Marked with Restrictive Legends.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227

L1:(3) 252.227-7028, Technical Data or Computer Software Previously Delivered to
L0:the Government.

L1:(4) 252.227-7997, Validation of Asserted Restrictions.

L1:(d) Do not require, as a condition of award of any contract action, that a contractor
L0:compel its subcontractors or suppliers at any tier to relinquish rights in technical data
L0:or computer software. This limitation does not apply to the Government?s license rights
L0:obtained under the clause at 252.227-7989, Rights in Technical Data, Computer
L0:Software, and Computer Software Documentation?Other Than Commercial Products
L0:and Commercial Services.

227.7103-16 Providing technical data, computer software, or computer

Status: active

L0:227.7103-16 Providing technical data, computer software, or computer
L0:software documentation to foreign governments, foreign contractors, or
L0:international organizations.

L0:Technical data, computer software, or computer software documentation may be
L0:released or disclosed to foreign governments, foreign contractors, or international
L0:organizations only if release or disclosure is otherwise permitted both by Federal export
L0:controls and other national security laws or regulations. Subject to such laws and
L0:regulations, DoD?

L1:(a) May release or disclose technical data, computer software, or computer software
L0:documentation in which it has obtained unlimited rights to such foreign entities or
L0:authorize the use of such data or software by those entities; and

L1:(b) May not release or disclose technical data, computer software, or computer
L0:software documentation that have asserted restrictions on use, release, or disclosure to
L0:foreign entities, or authorize the use of technical data, computer software, or computer

L0:software documentation by those entities, unless the intended recipient is subject to the
L0:same provisions as included in the use and nondisclosure agreement at 227.7103-7 and
L0:the requirements of the clause at 252.227-7989, Rights in Technical Data, Computer
L0:Software, and Computer Software Documentation?Other Than Commercial Products
L0:and Commercial Services.

227.7103-17 [Reserved]

Status: active

L0:227.7103-17 [Reserved]

227.7103-18 Acquisition of other than commercial computer software and

Status: active

L0:227.7103-18 Acquisition of other than commercial computer software and
L0:computer software documentation and associated rights.
L0:See PGI 227.7103-18 for guidance on acquisition of other than commercial computer
L0:software and computer software documentation and associated rights.

227.7104 Contracts under the Small Business Innovation Research Program

Status: active

L0:227.7104 Contracts under the Small Business Innovation Research Program
L0:and Small Business Technology Transfer Program.

227.7104-1 Policy

Status: active

L0:227.7104-1 Policy.
L1:(a) Do not require an offeror, either as a condition of being responsive to a
L0:solicitation or as a condition for award, to sell or otherwise relinquish to the
L0:Government any rights in technical data related to items, components, or processes
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227
L0:developed under a SBIR/STTR contract or any rights in computer software generated
L0:under a SBIR/STTR contract except for the standard rights identified at 227.7104-2.
L1:(b) Do not prohibit contractors and offerors from furnishing or offering to furnish
L0:items, components, or processes developed under a SBIR/STTR contract or computer
L0:software generated under a SBIR/STTR contract solely because the Government?s
L0:rights to use, modify, release, reproduce, perform, display, or disclose such computer
L0:software or technical data related to those items, components, or processes may be
L0:restricted.

L1:(c) Consistent with the guidance in this section, 227.7103-3(a)(5), and other L0:acquisition guidance applicable to SBIR/STTR solicitations, the Government may use L0:information provided by offerors in response to a solicitation in the source selection L0:process to evaluate the impact of proposed restrictions on the Government's ability to L0:use or disclose technical data or computer software.

L1:(d) SBIR/STTR data rights apply to SBIR/STTR data that are delivered, developed, L0:or generated in the performance of a contract or agreement that is covered by L0:SBIR/STTR policies, including contracts and subcontracts that include phase III work. L0:Phase III work refers to work that derives from, extends, or completes an effort made L0:under prior SBIR/STTR contracts or agreements, and is funded by sources other than L0:SBIR/STTR programs (see PGI 227.7104-1).

L1:(e) For SBIR/STTR data that is other than commercial technical data, and other L0:than commercial computer software and computer software documentation, see?

L1:(1) 227.7103-9 for guidance on copyright licenses;

L1:(2) 227.7103-3 and 227.7103-10 for guidance on contractor identification and L0:marking of technical data and computer software to be delivered with restrictive L0:markings;

L1:(3) 227.7103-11 for guidance on maintenance of contractor records; and

L1:(4) 227.7103-12 for guidance on nonconforming and unjustified markings.

227.7104-2 Rights in SBIR or STTR data

Status: active

L0:227.7104-2 Rights in SBIR or STTR data.

L1:(a) The Government obtains the following standard license rights in SBIR/STTR L0:data:

L1:(1) Unlimited rights in the technical data and computer software listed in L0:paragraph (c)(1) of the clause at 252.227-7993, Rights in Other Than Commercial L0:Technical Data and Computer Software-Small Business Innovation Research Program L0:and Small Business Technology Transfer Program.

L1:(2) SBIR/STTR data rights in all other technical data and computer software L0:developed or generated under the phase I, II, or III SBIR/STTR contract or subcontract L0:and marked with the SBIR/STTR data rights marking.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(i) SBIR/STTR data rights provide the Government limited rights in such L0:technical data and restricted rights in such computer software during the SBIR/STTR L0:data protection period commencing on the date of contract award and ending 20 years L0:after that date unless, after award, the agency and the contractor negotiate for some L0:other protection period for the SBIR/STTR data.

L1:(ii) Upon expiration of the SBIR/STTR data protection period, the L0:Government has government purpose rights in the SBIR/STTR data. These L0:government purpose rights do not expire. See PGI 227.7104-2 for additional guidance L0:on the SBIR/STTR data protection period.

L1:(b) During the SBIR/STTR data protection period, the Government may not release
L0:or disclose technical data or computer software subject to SBIR/STTR data rights to any
L0:person except as authorized for limited rights technical data or restricted rights
L0:computer software, respectively.

L1:(c) The Government and contractor or subcontractor may negotiate special license
L0:rights only after contract award. The Government must not condition contract award
L0:on the contractor or subcontractor negotiating or consenting to negotiate special license
L0:rights. Negotiation of special license rights is authorized only after contract award by
L0:mutual agreement of the parties.

L1:(d) The Small Business Administration's SBIR and STTR Program Policy Directive
L0:(effective May 3, 2023) provides for special consideration regarding the handling (e.g.,
L0:disclosure, reverse engineering) of prototypes generated under SBIR and STTR awards,
L0:to avoid effects that may appear to be inconsistent with the SBIR and STTR program
L0:objectives and to allow the SBIR/STTR awardee to retain rights in SBIR/STTR data
L0:during the SBIR/STTR data protection period.

L1:(e) The clause at 252.227-7993 specifies the Government's license rights in
L0:SBIR/STTR data. However, the following clauses or guidance specify the Government's
L0:license rights in any data that are not SBIR/STTR data:

L1:(1) For technical data related to other than commercial products or commercial
L0:services or to any portion of a commercial product or commercial service that was
L0:developed in any part at Government expense, the clause at 252.227-7989, Rights in
L0:Technical Data, Computer Software, and Computer Software Documentation?Other
L0:Than Commercial Products and Commercial Services, governs such technical data in
L0:accordance with 227.7102-4(b).

L1:(2) For technical data related to any portion of a commercial product or
L0:commercial service developed exclusively at private expense, the clause at 252.227-
L0:7990, Technical Data?Commercial Products and Commercial Services, governs such
L0:technical data, in accordance with 227.7102-4(b).

L1:(3) For other than commercial computer software or computer software
L0:documentation, the clause at 252.227-7989, Rights in Technical Data, Computer
L0:Software, and Computer Software Documentation?Other Than Commercial Products
L0:and Commercial Services, governs such software and computer software
L0:documentation, in accordance with 227.7103-6(c).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227

L1:(4) For commercial computer software and computer software documentation,
L0:the license customarily provided to the public governs such software and
L0:documentation, in accordance with 227.7202-3.

227.7104-3 STTR program requirements

Status: active

L0:227.7104-3 STTR program requirements.

L1:(a) Before award of a contract under STTR program requirements offerors submit,

L0:as part of their proposal, a written agreement between the offeror and a research
L0:institution that allocates any rights in intellectual property and the offeror's written
L0:representation that the offeror is satisfied with the agreement. Review the agreement
L0:to ensure it does not conflict with the requirements of the solicitation or any right to
L0:carry out follow-on research. If such conflicts exist and cannot be resolved, the
L0:submitted proposal is not eligible for award.

L1:(b) At contract award for STTR program requirements, attach to the contract the
L0:accepted written agreement and representation provided by the contractor pursuant to
L0:the provision at 252.227-7998.

L1:(c) After contract award, for any modification to the written agreement between the
L0:contractor and research institution, review the agreement and representation to ensure
L0:the modified agreement adheres to the requirements of 252.227-7999. If acceptable,
L0:attach the modified agreement to the contract.

227.7104-4 Solicitation provisions and contract clauses

Status: active

L0:227.7104-4 Solicitation provisions and contract clauses.

L2:(a)(1) Insert the clause at 252.227-7993, Rights in Other Than Commercial
L0:Technical Data and Computer Software-Small Business Innovation Research Program
L0:and Small Business Technology Transfer Program, in solicitations and contracts,
L0:including solicitations and contracts using FAR part 12 procedures for the acquisition of
L0:commercial products and commercial services, when SBIR/STTR data are delivered,
L0:developed, or generated during contract performance, and when any portion of contract
L0:performance is governed by SBIR or STTR policies (e.g., performance of one or more
L0:subcontracts qualifies as a phase III SBIR or STTR award). See 227.7104-1(d) for
L0:guidance on contracts or subcontracts governed by SBIR or STTR policies.

L1:(2) For the remainder of the technical data or computer software delivered,
L0:developed, or generated under the contract, see 227.7103-6 for guidance on applicable
L0:clauses.

L1:(b) See 227.7103-6 for other applicable provisions in solicitations and clauses in
L0:solicitations and contracts that include the clause at 252.227-7993.

L2:(c)(1) Insert the provision at 252.227-7040, Additional Preaward Requirements for
L0:Small Business Technology Transfer Program, in solicitations that contain the clause at
L0:252.227-7999.

L1:(2) Insert the clause at 252.227-7999, Additional Postaward Requirements for
L0:Small Business Technology Transfer Program, in solicitations and contracts, including
L0:solicitations and contracts using FAR part 12 procedures for the acquisition of
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227
L0:commercial products and commercial services, for acquisitions under the STTR
L0:program.

227.7105-1 General

Status: active

L0:227.7105-1 General.

L1:(a) Existing works include motion pictures, television recordings, video recordings, L0:and other audiovisual works in any medium; sound recordings in any medium; musical, L0:dramatic, and literary works; pantomimes and choreographic works; pictorial, graphic, L0:and sculptural works; and works of a similar nature. Usually, these or similar works L0:were not first created, developed, generated, originated, prepared, or produced under a L0:Government contract. Therefore, the Government must obtain a license in the work if L0:it intends to reproduce the work, distribute copies of the work, prepare derivative L0:works, or perform or display the work publicly. When the Government is not L0:responsible for the content of an existing work, it should require the copyright owner to L0:indemnify the Government for liabilities that may arise out of the content, performance, L0:use, or disclosure of such data.

L2:(b)(1) Follow the procedures at 227.7106 for special works that will be first created, L0:developed, generated, originated, prepared, or produced under a Government contract L0:and the Government?

L1:(i) Needs to control distribution of the work; or

L1:(ii) Has a specific need to obtain indemnity for liabilities that may arise out L0:of the creation, content, performance, use, or disclosure of the work or from libelous or L0:other unlawful material contained in the work.

L1:(2) Follow the procedures at 227.7103 when the Government does not need to L0:control distribution of such works or obtain such indemnities.

227.7105-2 Acquisition of existing works without modification

Status: active

L0:227.7105-2 Acquisition of existing works without modification.

L1:(a) No specific contract clause governs the Government?s rights in existing works.

L0:Negotiate contract terms related to use and distribution of existing works when?

L1:(1) The existing works will be acquired without modification; and

L1:(2) The Government requires the right to reproduce, prepare derivative works, L0:or publicly perform or display the existing works; or

L1:(3) The Government has a specific need to obtain indemnity for liabilities that L0:may arise out of the content, performance, use, or disclosure of such data.

L1:(b) Negotiated terms should provide the Government, and others acting on its L0:behalf, a paid-up, non-exclusive, irrevocable, world-wide license to reproduce, prepare L0:derivative works and publicly perform or display the works called for by a contract and L0:to authorize others to do so for government purposes.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(c) A contract clause is not required to acquire existing works such as books, L0:magazines and periodicals, in any storage or retrieval medium, when the Government

L0:will not reproduce the books, magazines or periodicals, or prepare derivative works.

227.7105-3 Acquisition of modified existing works

Status: active

L0:227.7105-3 Acquisition of modified existing works.

L0:Follow the procedures at 227.7106 for solicitations and contracts for modified existing
L0:works.

227.7106 Contracts for special works

Status: active

L0:227.7106 Contracts for special works.

L2:(a)(1) Contracts primarily for the production or compilation of works first produced,
L0:created, or generated in the performance of a contract (special works) for the
L0:Government's own use, must specifically address the Government's rights to use,
L0:disclose, modify, distribute, and reproduce the special works.

L2:(2)(i) Contracts may include negotiated terms controlling contractor use and
L0:distribution of special works by obtaining an assignment of copyright or obtaining
L0:indemnity for liabilities that might arise out of the content, performance, or disclosure
L0:of special works.

L1:(ii) Negotiated terms may specify the purposes and conditions (including
L0:time limitations) under which the contractor may use, release, or reproduce the special
L0:works other than for contract performance.

L1:(iii) Such contract terms should not permit a contractor to incorporate into a
L0:special work any works copyrighted by others unless the contractor obtains the
L0:contracting officer's permission to do so and obtains for the Government a non-
L0:exclusive, paid up, world-wide license to make and distribute copies of that work, to
L0:prepare derivative works, to perform or display publicly any portion of the work, and to
L0:permit others to do so for government purposes.

L1:(iv) Contracting officers should grant such permissions only when the
L0:Government's requirements cannot be satisfied unless the third party work is included
L0:in the deliverable work.

L1:(b) No specific contract clause governs the Government's rights in special works.
L0:Negotiate contract terms regarding control of, use, and distribution of special works?

L1:(1) When the Government must own or control copyright in all works first
L0:produced, created, or generated and which the contractor must deliver under a contract;
L0:or

L1:(2) In addition to the clause at 252.227-7989 when the Government must own
L0:or control copyright in a portion of a work first produced, created, or generated and
L0:which the contractor must deliver under a contract. The specific portion in which the
L0:Government must own or control copyright must be identified in a special contract
L0:requirement.

L1:(c) See PGI 227.7106(c) for a list of examples of special works.

227.7107 [Reserved]

Status: active

L0:227.7107 [Reserved]

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

227.7108 [Reserved]

Status: active

L0:227.7108 [Reserved]

227.7200 Scope of subpart

Status: active

L0:227.7200 Scope of subpart.

L0:This subpart?

L1:(a) Prescribes policies and procedures for the acquisition of technical data, computer

L0:software and computer software documentation related to commercial products,

L0:components, services, processes, and computer software, and the rights to use, modify,

L0:reproduce, release, perform, display, or disclose such data or software. It implements

L0:the following laws and Executive order:

L1:(1) 10 U.S.C. 3013.

L1:(2) 10 U.S.C. 3208(d).

L1:(3) 10 U.S.C. 3771-3775.

L1:(4) 10 U.S.C. 3781-3786.

L1:(5) 10 U.S.C. 4576.

L1:(6) Executive Order 12591 (subsection 1(b)(7)).

L1:(b) Does not apply to?

L1:(1) Technical data, computer software, or computer software documentation

L0:acquired under General Services Administration (GSA) schedule contracts; or

L1:(2) Releases of technical data, computer software, or computer software

L0:documentation to litigation support contractors (see subpart 204.74).

227.7201 Definitions

Status: active

L0:227.7201 Definitions.

L0:As used in this subpart?

L0:Commercial computer software? means software developed or regularly used for

L0:nongovernmental purposes which?

L1:(1) Has been sold, leased, or licensed to the public;

L1:(2) Has been offered for sale, lease, or license to the public;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(3) Has not been offered, sold, leased, or licensed to the public but will be available

L0:for commercial sale, lease, or license in time to satisfy the delivery requirements of this

L0:contract; or

L1:(4) Satisfies a criterion expressed in paragraph (1), (2), or (3) of this definition and

L0:would require only minor modification to meet the requirements of this contract.

L0:Computer software? means computer programs, source code, source code listings,

L0:object code listings, design details, algorithms, processes, flow charts, formulae and

L0:related material that would enable the software to be reproduced, recreated, or

L0:recompiled. Computer software does not include computer data bases or computer

L0:software documentation.

L0:Computer software documentation? means owner?s manuals, user?s manuals,

L0:installation instructions, operating instructions, and other similar items, regardless of

L0:storage medium, that explain the capabilities of the computer software or provide

L0:instructions for using the software.

L0:Contractor? means a contractor to include a contractor?s subcontractors, suppliers, or

L0:potential subcontractors or suppliers at any tier

L0:Covered Government support contractor? means a contractor (other than a litigation

L0:support contractor covered by 252.204-7014) under a contract, the primary purpose of

L0:which is to furnish independent and impartial advice or technical assistance directly to

L0:the Government in support of the Government?s management and oversight of a

L0:program or effort, rather than to directly furnish an end item or service to accomplish a

L0:program or effort, provided that the contractor?

L1:(1) Is not affiliated with the prime contractor or a first-tier subcontractor on the

L0:program or effort, or with any direct competitor of such prime contractor or any such

L0:first-tier subcontractor in furnishing end items or services of the type developed or

L0:produced on the program or effort; and

L1:(2) Receives access to technical data or computer software for performance of a

L0:Government contract that contains the clause at 252.227-7994, Limitations on the Use

L0:or Disclosure of Government-Furnished Information Marked with Restrictive Legends.

L0:Offeror? means an offeror to include an offeror?s subcontractors, suppliers, or potential

L0:subcontractors or suppliers at any tier

L0:Technical data? means recorded information, regardless of the form or method of the

L0:recording, of a scientific or technical nature (including computer software

L0:documentation). The term does not include computer software or financial,

L0:administrative, cost or pricing, or management information, or information incidental to

L0:contract administration.

227.7202 Commercial computer software and commercial computer software

Status: active

L0:227.7202 Commercial computer software and commercial computer software

L0:documentation.

227.7202-1 Policy

Status: active

L0:227.7202-1 Policy.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(a) Acquire commercial computer software or commercial computer software

L0:documentation under the licenses customarily provided to the public unless such

L0:licenses are inconsistent with Federal procurement law or do not otherwise satisfy user

L0:needs.

L1:(b) Obtain commercial computer software and commercial computer software

L0:documentation competitively, to the maximum extent practicable, using firm-fixed-price

L0:contracts or firm-fixed-priced orders under available pricing schedules.

L1:(c) Do not require offerors and contractors to?

L1:(1) Furnish technical information related to commercial computer software or

L0:commercial computer software documentation that is not customarily provided to the

L0:public except for information documenting the specific modifications made at

L0:Government expense to such software or documentation to meet the requirements of a

L0:Government solicitation; or

L1:(2) Relinquish to, or otherwise provide, the Government rights to use, modify,

L0:reproduce, release, perform, display, or disclose commercial computer software or

L0:commercial computer software documentation except for a transfer of rights mutually

L0:agreed upon.

L1:(d) When establishing contract requirements and negotiation objectives to meet

L0:agency needs, the Government should consider the factors identified in PGI 227.7103-

L0:18 for commercial computer software and computer software documentation, consistent

L0:with paragraph (c) of this section.

227.7202-2 [Reserved]

Status: active

L0:227.7202-2 [Reserved]

227.7202-3 Rights in commercial computer software or commercial computer

Status: active

L0:227.7202-3 Rights in commercial computer software or commercial computer

L0:software documentation.

L1:(a) The Government has the rights specified in the license under which the

L0:Government obtained the commercial computer software or commercial computer

L0:software documentation.

L1:(b) No contract clause governs the Government's rights in commercial computer

L0:software or commercial computer software documentation.

L1:(c) If the Government has a need for rights not conveyed under the license

L0:customarily provided to the public, negotiate with the contractor to determine
L0:acceptable terms for transferring such rights. Any resulting license agreement, made
L0:part of the contract, must list or describe all software and software documentation for
L0:which the contractor has granted the Government additional rights, and specify the
L0:additional rights granted.

227.7202-4 [Reserved]

Status: active

L0:227.7202-4 [Reserved]

227.7203 [Reserved]

Status: active

L0:227.7203 [Reserved]

227.7203-1 - 227.7203-17 [Reserved]

Status: active

L0:227.7203-1 - 227.7203-17 [Reserved]
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227

227.7204 227.7207 [Reserved]

Status: active

L0:227.7204 227.7207 [Reserved]

227.7208 Technical data related to commercial products, commercial

Status: active

L0:227.7208 Technical data related to commercial products, commercial
L0:components, commercial services, or commercial processes.

227.7208-1 Policy

Status: active

L0:227.7208-1 Policy.
L1:(a) DoD policy is to acquire only the technical data customarily provided to the
L0:public with a commercial product, commercial service, or commercial process, except
L0:technical data that?

L1:(1) Are form, fit, or function data;

L1:(2) Are required for repair or maintenance of commercial products or

L0:commercial processes, or for the proper installation, operating, or handling of a

L0:commercial product, either as a stand alone unit or as a part of a military system, when

L0:such data are not customarily provided to commercial users or the data provided to

L0:commercial users is not sufficient for military purposes; or

L1:(3) Describe the modifications made at Government expense to a commercial

L0:product, commercial service, or commercial process in order to meet the requirements of

L0:a Government solicitation.

L1:(b) To encourage offerors and contractors to offer or use commercial products to

L0:satisfy military requirements, do not require (except for the technical data described in

L0:paragraph (a) of this section) offerors, and contractors to?

L1:(1) Furnish technical information related to commercial products, commercial

L0:services, or commercial processes that is not customarily provided to the public; or

L1:(2) Relinquish to, or otherwise provide, the Government rights to use, modify,

L0:reproduce, release, perform, display, or disclose technical data related to commercial

L0:products, commercial services, or commercial processes except for a mutually agreed

L0:transfer of rights.

L1:(c) The Government's rights in a vessel design, and in any useful article embodying

L0:a vessel design, must be consistent with the Government's rights in technical data

L0:related to the design (10 U.S.C. 8687; 17 U.S.C. 1301(a)(3)).

227.7208-2 Rights in technical data

Status: active

L0:227.7208-2 Rights in technical data.

L1:(a) The Government has specific license rights in technical data related to

L0:commercial products, commercial services, or commercial processes.

L1:(1) DoD may use, modify, reproduce, release, perform, display, or disclose data

L0:only within the Government.

L1:(2) The data may not be used to manufacture additional quantities of the

L0:commercial products and, except for emergency repair or overhaul and for covered

L0:Government support contractors, may not be released or disclosed to, or used by, third

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:parties without the contractor's written permission. Those restrictions do not apply to

L0:the technical data described in 227.7208-1(a).

L1:(b) If the Government requires additional rights, negotiate with the contractor to

L0:determine whether acceptable terms exist for transferring such rights. Any resulting

L0:license agreement, made part of the contract, must list or describe all technical data for

L0:which the contractor has granted the Government additional rights, and specify the

L0:additional rights granted

227.7208-3 Government right to review, verify, challenge, and validate

Status: active

L0:227.7208-3 Government right to review, verify, challenge, and validate

L0:asserted restrictions.

L0:Follow the procedures at 227.7103-13 regarding the validation of asserted restrictions

L0:on technical data related to commercial products or commercial services.

227.7208-4 Contract clauses

Status: active

L0:227.7208-4 Contract clauses.

L2:(a)(1) Except as provided in paragraph (b) of this section, insert the clause at

L0:252.227-7990, Technical Data?Commercial Products and Commercial Services, in

L0:solicitations and contracts, including solicitations and contracts using FAR part 12

L0:procedures for the acquisition of commercial products and commercial services, when

L0:the contract will require delivery of technical data related to commercial products,

L0:commercial components, commercial services, or commercial processes.

L1:(2) Insert the clause at 252.227-7990 with its Alternate I in solicitations and

L0:contracts, including solicitations and contracts using FAR part 12 procedures for the

L0:acquisition of commercial products and commercial services, for the development or

L0:delivery of a vessel design or any useful article embodying a vessel design.

L2:(b)(1) Government development funding. When the Government has paid for any

L0:portion of the development of a commercial product or commercial service, insert the

L0:clause at 252.227-7989, Rights in Technical Data, Computer Software, and Computer

L0:Software Documentation?Other Than Commercial Products and Commercial Services,

L0:in addition to the clause at 252.227-7990.

L1:(2) Applicability. For technical data, the clause at 252.227-7989 governs the

L0:technical data related to the Government-funded portions, and the clause at 252.227-

L0:7990 governs the technical data related to the portions developed exclusively at private

L0:expense. These clauses do not apply to commercial computer software or commercial

L0:software documentation.

L1:(c) Insert the clause at 252.227-7997, Validation of Asserted Restrictions on

L0:Technical Data, in solicitations and contracts using FAR part 12 procedures for the

L0:acquisition of commercial products and commercial services that include the clause at

252.227-7990 Technical Data?Commercial Products and Commercial

Status: active

L0:252.227-7990 Technical Data?Commercial Products and Commercial

L0:Services. (DEVIATION 2026-O0036)

L0:As prescribed in 227.7203-6(a)(1), use the following clause:

L0:TECHNICAL DATA?COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES

L0:(DEVIATION 2026-O0036) (FEB 2026)

L1:(a) Definitions. As used in this clause?

L0:Commercial product and commercial service? includes commercial components and commercial processes but does not include commercial computer software.

L0:Covered Government support contractor? means a contractor (other than a litigation

L0:support contractor covered by 252.204-7014) under a contract, the primary purpose of

L0:which is to furnish independent and impartial advice or technical assistance directly to

L0:the Government in support of the Government's management and oversight of a

L0:program or effort (rather than to directly furnish an end item or service to accomplish a

L0:program or effort), provided that the contractor?

L1:(1) Is not affiliated with the prime contractor or a first-tier subcontractor on the

L0:program or effort, or with any direct competitor of such prime contractor or any such

L0:first-tier subcontractor in furnishing end items or services of the type developed or

L0:produced on the program or effort; and

L1:(2) Receives access to technical data or computer software for performance of a

L0:Government contract that contains the clause at 252.227-7994, Limitations on the Use

L0:or Disclosure of Government-Furnished Information Marked with Restrictive Legends.

L0:Form, fit, and function data? means technical data that describe the required overall

L0:physical, functional, and performance characteristics (along with the qualification

L0:requirements, if applicable) of an item, component, or process to the extent necessary to

L0:permit identification of physically and functionally interchangeable items.

L0:Technical data? means recorded information, regardless of the form or method of

L0:recording, of a scientific or technical nature (including computer software

L0:documentation). The term does not include computer software or financial,

L0:administrative, cost or pricing, or management information, or information incidental to

L0:contract administration.

L1:(b) Applicability. This clause governs the technical data related to any portion of a

L0:commercial product or commercial service that was developed exclusively at private

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:expense. If the commercial product or commercial service was developed in any part at

L0:Government expense?

L1:(1) The clause at Defense Federal Acquisition Regulation Supplement (DFARS)

L0:252.227-7993, Rights in Other Than Commercial Technical Data and Computer

L0:Software?Small Business Innovation Research Program and Small Business

L0:Technology Transfer Program, governs technical data that are generated during any

L0:portion of performance that is covered under the Small Business Innovation Research

L1:(SBIR) Program or Small Business Technology Transfer (STTR) Program; and

L1:(2) The clause at DFARS 252.227-7989, Rights in Technical Data, Computer

L0:Software, and Computer Software Documentation?Other Than Commercial Products

L0:and Commercial Services, governs the technical data related to any portion of a

L0:commercial product or commercial service that was developed in any part at

L0:Government expense and is not covered under the SBIR or STTR program.

L1:(c) License. (1) The Government shall have the unrestricted right to use, modify,

L0:reproduce, release, perform, display, or disclose technical data, and to permit others to

L0:do so, that?

L1:(i) Have been provided to the Government or others without restrictions on
L0:use, modification, reproduction, release, or further disclosure other than a release or
L0:disclosure resulting from the sale, transfer, or other assignment of interest in the
L0:technical data to another party or the sale or transfer of some or all of a business entity
L0:or its assets to another party;
L1:(ii) Are form, fit, and function data;
L1:(iii) Are a correction or change to technical data furnished to the Contractor
L0:by the Government;
L1:(iv) Are necessary for operation, maintenance, installation, or training
L0:(other than detailed manufacturing or process data); or
L1:(v) Have been provided to the Government under a prior contract or
L0:licensing agreement through which the Government has acquired the rights to use,
L0:modify, reproduce, release, perform, display, or disclose the data without restrictions.
L1:(2) Except as provided in paragraph (c)(1) of this clause, the Government may
L0:use, modify, reproduce, release, perform, display, or disclose technical data within the
L0:Government only. The Government will not?
L1:(i) Use the technical data to manufacture additional quantities of the
L0:commercial products; or
L1:(ii) Release, perform, display, disclose, or authorize use of the technical data
L0:outside the Government without the Contractor's written permission unless a release,
L0:disclosure, or permitted use is necessary for emergency repair or overhaul of the
L0:commercial products furnished under this contract, or for performance of work by
L0:covered Government support contractors.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227
L1:(3) The Contractor acknowledges that?
L1:(i) The Government is authorized to release or disclose technical data
L0:covered by paragraph (c)(2) of this clause to covered Government support contractors;
L1:(ii) The Government will notify the Contractor of such release or disclosure;
L1:(iii) The Contractor or the party asserting restrictions in a restrictive legend
L0:may?
L1:(A) Require each such covered Government support contractor to enter
L0:into a nondisclosure agreement directly with the Contractor or the party asserting
L0:restrictions regarding the use of the data; or
L0:and
L1:(B) Waive in writing the requirement for a nondisclosure agreement;
L1:(iv) Any such nondisclosure agreement shall address the restrictions on the
L0:covered Government support contractor's use of the data as set forth in the clause at
L0:DFARS 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished
L0:Information Marked with Restrictive Legends. The nondisclosure agreement shall not
L0:include any additional terms and conditions unless mutually agreed to by the parties to
L0:the nondisclosure agreement.
L1:(d) Additional license rights. The Contractor, its subcontractors, and suppliers are
L0:not required to provide the Government additional rights to use, modify, reproduce,
L0:release, perform, display, or disclose technical data. However, if the Government

L0:desires to obtain additional rights in technical data, the Contractor agrees to promptly
 L0:enter into negotiations with the Contracting Officer to determine whether there are
 L0:acceptable terms for transferring such rights. The Contractor shall ensure that any
 L0:resulting special license agreement, made part of the contract, lists or describes all
 L0:technical data for which the Government has been granted additional rights and
 L0:specifies those additional rights.

L1:(e) Release from liability. The Contractor agrees that the Government, and other
 L0:persons to whom the Government may have released or disclosed technical data
 L0:delivered or otherwise furnished under this contract, shall have no liability for any
 L0:release or disclosure of technical data that are not marked to indicate that such data are
 L0:licensed data subject to use, modification, reproduction, release, performance, display,
 L0:or disclosure restrictions.

L1:(f) Subcontractors or suppliers. (1) The Contractor shall recognize and protect the
 L0:rights afforded its subcontractors and suppliers under 10 U.S.C. 3771-3775, 10 U.S.C.
 L0:3781-3786, and 15 U.S.C. 638(j)(1)(B)(iii) and (v).

L1:(2) Whenever any technical data related to commercial products or commercial
 L0:services developed in any part at private expense will be obtained from a subcontractor
 L0:or supplier for delivery to the Government under this contract, the Contractor shall use
 L0:this clause in the subcontract or other contractual instrument, including subcontracts
 L0:and other contractual instruments for commercial products or commercial services, and
 L0:require its subcontractors or suppliers to do so, without alteration, except to identify the
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
 L0:Defense FAR Supplement (DFARS) Part 227

L0:parties. This clause will govern the technical data related to any portion of a
 L0:commercial product or commercial service that was developed exclusively at private
 L0:expense, and the Contractor shall use the following clauses to govern the technical data
 L0:related to any portion of a commercial product or commercial service that was developed
 L0:in any part at Government expense:

L1:(i) Use the clause at DFARS 252.227-7989, Rights in Technical Data,
 L0:Computer Software, and Computer Software Documentation?Other Than Commercial
 L0:Products and Commercial Services, to govern any technical data that are not generated
 L0:during any portion of performance that is covered under the SBIR or STTR program.

L1:(ii) Use the clause at 252.227-7993, Rights in Other Than Commercial
 L0:Technical Data and Computer Software?Small Business Innovation Research Program
 L0:and Small Business Technology Transfer Program, to govern technical data that are
 L0:generated during any portion of performance that is covered under the SBIR or STTR
 L0:program.

L0:(End of clause)

L0:Alternate I (DEVIATION 2026-O0036) (FEB 2026). As prescribed in 227.7102-4(a)(2),
 L0:add the following definition of ?Vessel design? in alphabetical order to paragraph (a) and
 L0:add (c)(4) to the basic clause:

L1:(a) ?Vessel design? means the design of a vessel, boat, or craft, and its components,
 L0:including the hull, decks, superstructure, and the exterior surface shape of all external
 L0:shipboard equipment and systems. The term includes designs covered by 10 U.S.C.
 L0:8687, and designs protectable under 17 U.S.C. 1301, et seq.

L2:(c)(4) Vessel designs. For a vessel design (including a vessel design embodied in a L0:useful article) that is developed or delivered under this contract, the Government shall L0:have the right to make and have made any useful article that embodies the vessel L0:design, to import the article, to sell the article, and to distribute the article for sale or to L0:use the article in trade, to the same extent that the Government is granted rights in the L0:technical data related to the vessel design.

252.227-7000 - 252.227-7012 [Reserved]

Status: active

L0:252.227-7000 - 252.227-7012 [Reserved]
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227

252.227-7989 Rights in Technical Data, Computer Software, and Computer

Status: active

L0:252.227-7989 Rights in Technical Data, Computer Software, and Computer
L0:Software Documentation?Other Than Commercial Products and
L0:Commercial Services. (DEVIATION 2026-O0036)
L0:As prescribed in 227.7103-6(a) and (c), use the following clause:

**L0:RIGHTS IN TECHNICAL DATA, COMPUTER SOFTWARE, AND COMPUTER
L0:SOFTWARE DOCUMENTATION?OTHER THAN COMMERCIAL PRODUCTS OR
L0:COMMERCIAL SERVICES (DEVIATION 2026-O0036) (FEB 2026)**

L1:(a) Definitions. As used in this clause?
L0:?Commercial computer software? means software developed or regularly used for
L0:nongovernmental purposes which?
L1:(1) Has been sold, leased, or licensed to the public;
L1:(2) Has been offered for sale, lease, or license to the public;
L1:(3) Has not been offered, sold, leased, or licensed to the public but will be
L0:available for commercial sale, lease, or license in time to satisfy the delivery
L0:requirements of this contract; or
L1:(4) Satisfies a criterion expressed in paragraph (1), (2), or (3) of this definition
L0:and would require only minor modification to meet the requirements of this contract.
L0:?Computer database? means a collection of data recorded in a form capable of being
L0:processed by a computer. The term does not include computer software.
L0:?Computer program? means a set of instructions, rules, or routines recorded in a form
L0:that is capable of causing a computer to perform a specific operation or series of
L0:operations.
L0:?Computer software? means computer programs, source code, source code listings,
L0:object code listings, design details, algorithms, processes, flow charts, formulae and
L0:related material that would enable the software to be reproduced, recreated, or
L0:recompiled. Computer software does not include computer databases or computer

L0:software documentation.

L0:Computer software documentation? means owner's manuals, user's manuals, installation instructions, operating instructions, and other similar items, regardless of storage medium, that explain the capabilities of the computer software or provide instructions for using the software.

L0:Covered Government support contractor? means a contractor (other than a litigation support contractor covered by 252.204-7014) under a contract, the primary purpose of which is to furnish independent and impartial advice or technical assistance directly to the Government in support of the Government's management and oversight of a program or effort, rather than to directly furnish an end item or service to accomplish a program or effort, provided that the contractor?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(1) Is not affiliated with the prime contractor or a first-tier subcontractor on the program or effort, or with any direct competitor of such prime contractor or any such first-tier subcontractor in furnishing end items or services of the type developed or produced on the program or effort; and

L1:(2) Receives access to technical data or computer software for performance of a Government contract that contains the clause at 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends.

L0:Detailed manufacturing or process data? means technical data that describe the steps, sequences, and conditions of manufacturing, processing or assembly used by the manufacturer to produce an item or component or to perform a process.

L0:Developed? means?

L1:(1) (Applicable to technical data other than computer software documentation.)

L0:An item, component, or process exists and is workable. Thus, the item or component must have been constructed or the process practiced. Workability is generally established when the item, component, or process has been analyzed or tested sufficiently to demonstrate to reasonable people skilled in the applicable art that there is a high probability that it will operate as intended. Whether, how much, and what type of analysis or testing is required to establish workability depends on the nature of the item, component, or process, and the state of the art. To be considered developed, the item, component, or process need not be at the stage where it could be offered for sale or sold on the commercial market, nor must the item, component, or process be actually reduced to practice within the meaning of Title 35 of the United States Code;

L1:(2) A computer program has been successfully operated in a computer and tested to the extent sufficient to demonstrate to reasonable persons skilled in the art that the program can reasonably be expected to perform its intended purpose;

L1:(3) Computer software, other than computer programs, has been tested or analyzed to the extent sufficient to demonstrate to reasonable persons skilled in the art that the software can reasonably be expected to perform its intended purpose; or

L1:(4) Computer software documentation the contractor must deliver under a contract has been written, in any medium, in sufficient detail to comply with requirements under that contract.

L0:Developed exclusively at private expense? means development was accomplished

L0:entirely with costs charged to indirect cost pools, costs not allocated to a Government

L0:contract, or any combination thereof.

L1:(1) Private expense determinations should be made at the lowest practicable

L0:level.

L1:(2) Under fixed-price contracts, when total costs are greater than the firm-fixed-

L0:price or ceiling price of the contract, the additional development costs necessary to

L0:complete development shall not be considered when determining whether development

L0:was at Government, private, or mixed expense.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:?Developed exclusively with Government funds? means development was not

L0:accomplished exclusively or partially at private expense.

L0:?Developed with mixed funding? means development was accomplished partially with

L0:costs charged to indirect cost pools and/or costs not allocated to a government contract,

L0:and partially with costs charged directly to a government contract.

L0:?Form, fit, and function data? means technical data that describe the required overall

L0:physical, functional, and performance characteristics (along with the qualification

L0:requirements, if applicable) of an item, component, or process to the extent necessary to

L0:permit identification of physically and functionally interchangeable items.

L0:?Generated? means, with regard to technical data or computer software, first created in

L0:the performance of this contract.

L0:?Government purpose? means any activity in which the United States Government is a

L0:party, including cooperative agreements with international or multi-national defense

L0:organizations, or sales or transfers by the United States Government to foreign

L0:governments or international organizations. Government purposes include competitive

L0:procurement, but do not include the rights to use, modify, reproduce, release, perform,

L0:display, or disclose technical data, computer software, or computer software

L0:documentation for commercial purposes or authorize others to do so.

L0:?Government purpose rights? means the rights to?

L1:(1) Use, modify, reproduce, release, perform, display, or disclose technical data,

L0:computer software, or computer software documentation within the Government

L0:without restriction; and

L1:(2) Release or disclose technical data, computer software, or computer software

L0:documentation outside the Government and authorize persons to whom release or

L0:disclosure has been made to use, modify, reproduce, release, perform, display, or

L0:disclose that data or software for United States Government purposes.

L0:?Limited rights? means the rights to use, modify, reproduce, release, perform, display,

L0:or disclose technical data, in whole or in part, within the Government. The Government

L0:may not, without the written permission of the party asserting limited rights, release or

L0:disclose the technical data outside the Government, use the technical data for

L0:manufacture, or authorize the technical data to be used by another party, except that

L0:the Government may reproduce, release, or disclose such data or authorize the use or

L0:reproduction of the data by persons outside the Government if?

L1:(1) The reproduction, release, disclosure, or use is?

L1:(i) Necessary for emergency repair and overhaul; or

L1:(ii) A release or disclosure to?

L0:covered Government support contract for use, modification, reproduction, performance,

L1:(A) A covered Government support contractor in performance of its

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:display, or release or disclosure to a person authorized to receive limited rights technical

L0:data; or

L1:(B) A foreign government, of technical data other than detailed

L0:manufacturing or process data, when use of such data by the foreign government is in

L0:the interest of the Government and is required for evaluational or informational

L0:purposes;

L1:(2) The recipient of the technical data is subject to a prohibition on the further

L0:reproduction, release, disclosure, or use of the technical data; and

L1:(3) The contractor or subcontractor asserting the restriction is notified of such

L0:reproduction, release, disclosure, or use.

L0:Minor modification? means a modification that does not significantly alter the

L0:nongovernmental function or purpose of the software or is of the type customarily

L0:provided in the commercial marketplace.

L0:Other than commercial computer software? means software that does not qualify as

L0:commercial computer software under the definition of commercial computer software?

L0:of this clause.

L0:Restricted rights? apply only to other than commercial computer software and mean

L0:the Government's rights to?

L1:(1) Use a computer program with one computer at one time. The program may not

L0:be accessed by more than one terminal or central processing unit or time shared unless

L0:otherwise permitted by this contract;

L1:(2) Transfer a computer program to another Government agency without the

L0:further permission of the Contractor if the transferor destroys all copies of the program

L0:and related computer software documentation in its possession and notifies the licensor

L0:of the transfer. Transferred programs remain subject to the provisions of this clause;

L1:(3) Make a reasonable number of copies of the computer software required for the

L0:purposes of safekeeping (archive), backup, modification, or other activities authorized in

L0:paragraphs (1), (2), (4) and (5) of this definition;

L1:(4) Modify computer software provided that the Government may?

L1:(i) Use the modified software only as provided in paragraphs (1) and (3) of this

L0:definition; and

L1:(ii) Not release or disclose the modified software except as provided in

L0:paragraphs (2) and (5) of this clause;

L1:(5) Use, modify, reproduce, perform, display, or release or disclose the computer

L0:software, and permit contractors, subcontractors, or covered Government support

L0:contractors to do so, for purposes set forth in subparagraph (i) of this paragraph, subject

L0:to the conditions set forth in subparagraphs (ii) of this paragraph:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L2:(i)(A) In performance of service contracts (see FAR 37.101), to diagnose and

L0:correct deficiencies, to modify the software to enable a computer program to be
L0:combined with, adapted to, or merged with other computer programs, or when
L0:necessary to respond to urgent tactical situations, provided that the Government
L0:notifies the party which has granted restricted rights that any such release or
L0:disclosure to particular contractors or subcontractors was made;
L1:(B) To perform emergency repairs or overhaul of items or components
L0:procured under this or a related contract, when necessary to perform such repairs or
L0:overhaul; or
L1:(C) For the management and oversight of a program or effort by a person
L0:authorized to receive restricted rights computer software, including in the performance
L0:of covered Government support contracts.
L2:(ii)(A) Any contractor, subcontractor, or covered Government support contractor
L0:receiving access to the software for the purposes of subparagraphs (i), (ii), or (iii) of this
L0:paragraph shall be subject to the use and nondisclosure agreement at 227.7103-7 or be
L0:performing a Government contract that contains the clause at 252.227-7994,
L0:Limitations on the Use or Disclosure of Government-Furnished Information Marked
L0:with Restrictive Legends;
L1:(B) The Government must not permit any recipient of the software under
L0:this paragraph to decompile, disassemble, or reverse engineer the software, or use
L0:software decompiled, disassembled, or reverse engineered by the Government pursuant
L0:to paragraph (4) of this definition, for any other purpose; and
L1:(C) Any use, modification, reproduction, performance, display, release, or
L0:disclosure of the computer software under this paragraph remains subject to the
L0:limitations in paragraphs (1) through (4) of this definition.
L0:Small Business Innovation Research/Small Business Technology Transfer
L0:(SBIR/STTR) data? means all technical data or computer software developed or
L0:generated in the performance of a phase I, II, or III SBIR/STTR contract or subcontract.
L0:Technical data? means recorded information, regardless of the form or method of the
L0:recording, of a scientific or technical nature (including computer software
L0:documentation). The term does not include computer software or financial,
L0:administrative, cost or pricing, or management information, or information incidental to
L0:contract administration.
L0:Unlimited rights? means rights to use, modify, reproduce, perform, display, release, or
L0:disclose technical data, computer software, or computer software documentation in
L0:whole or in part, in any manner, and for any purpose whatsoever, and to have or
L0:authorize others to do so.
L1:(b) Applicability. (1) Except as provided in paragraph (b)(2) of this clause?
L1:(i) This clause governs all technical data related to other than commercial
L0:products or commercial services or to any portion of a commercial product or
L0:commercial service that was developed in any part at Government expense;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227
L1:(ii) This clause governs all other than commercial computer software or
L0:other than commercial computer software documentation; and
L1:(iii) The clause at DFARS 252.227-7990, Technical Data?Commercial

L0:Products and Commercial Services, governs the technical data related to any portion of
L0:a commercial product or commercial service that was developed exclusively at private
L0:expense.

L1:(2) The clause at DFARS 252.227-7993, Rights in Other Than Commercial

L0:Technical Data and Computer Software?Small Business Innovation Research Program

L0:and Small Business Technology Transfer Program, governs technical data that are

L0:SBIR/STTR data.

L1:(c) Rights in technical data and computer software. The Contractor grants or shall

L0:obtain for the Government the following royalty free, worldwide, nonexclusive,

L0:irrevocable license rights:

L1:(1) Unlimited rights. The Government shall have unlimited rights in technical

L0:data, computer software, or computer software documentation that are?

L1:(i) Data related to an item, component, or process which has been or will be

L0:developed exclusively with Government funds;

L1:(ii) Studies, analyses, test data, or similar data produced for this contract,

L0:when the study, analysis, test, or similar work was specified as an element of

L0:performance;

L1:(iii) Technical data created exclusively with Government funds in the

L0:performance of a contract that does not require the development, manufacture,

L0:construction, or production of items, components, or processes;

L1:(iv) Form, fit, and function data;

L1:(v) Technical data necessary for installation, operation, maintenance, or

L0:training purposes (other than detailed manufacturing or process data);

L1:(vi) Government-furnished corrections or changes to?

L1:(A) Technical data furnished to the Contractor by the Government; or

L1:(B) Computer software or computer software documentation;

L1:(vii) Data, computer software, or computer software documentation that is

L0:publicly available or previously released or disclosed by the Contractor or subcontractor

L0:without restrictions on further use, release or disclosure, other than a release or

L0:disclosure resulting from the sale, transfer, or other assignment of interest in the

L0:technical data to another party or the sale or transfer of some or all of a business entity

L0:or its assets to another party;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(viii) Data, computer software, or computer software documentation in

L0:which the Government has obtained unlimited rights under another Government

L0:contract or as a result of negotiations;

L1:(ix) Data furnished to the Government, under this or any other Government

L0:contract or subcontract, with?

L0:restrictive condition(s) has/have expired; or

L1:(A) Government purpose license rights or limited rights and the

L0:use such data for commercial purposes has expired; or

L1:(B) Government purpose rights and the Contractor?s exclusive right to

L1:(x) Computer software developed exclusively with Government funds;

L1:(xi) Computer software documentation the contractor must deliver under

L0:this contract; or

L1:(xvii) Computer software or computer software documentation furnished to

L0:the Government, under this or any other Government contract or subcontract with?

L1:(A) Restricted rights in computer software, limited rights in technical

L0:data, or government purpose license rights and the restrictive conditions have expired;

L0:or

L0:use such software or documentation for commercial purposes has expired.

L1:(B) Government purpose rights and the Contractor's exclusive right to

L1:(2) Government purpose rights. (i) The Government shall have government

L0:purpose rights for a 5-year period, or such other period as may be negotiated, in

L0:technical data or computer software?

L1:(A) Related to items, components, or processes developed with mixed

L0:funding except when the Government is entitled to unlimited rights in such data or

L0:software as provided in paragraphs (c)(1)(ii), (c)(1)(iv) through (c)(1)(ix), and (c)(1)(xii)

L0:through (c)(1)(x)(v)(i) of this clause; or

L1:(B) Created with mixed funding in the performance of a contract that

L0:does not require the development, manufacture, construction, or production of items,

L0:components, or processes.

L1:(ii) The 5-year period, or such other period as may have been negotiated,

L0:shall begin upon execution of the contract, subcontract, letter contract (or similar

L0:contractual instrument), contract modification, or option exercise that required

L0:development of the items, components, or processes, development of the computer

L0:software, or creation of the data described in paragraph (c)(2)(i)(B) of this clause. Upon

L0:expiration of the 5-year or other negotiated period, the Government shall have

L0:unlimited rights in the technical data or computer software.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(iii) The Government will not release or disclose technical data or computer

L0:software in which it has government purpose rights unless?

L0:nondisclosure agreement at DFARS 227.7103-7; or

L1:(A) Prior to release or disclosure, the intended recipient completes the

L1:(B) The recipient is a Government contractor receiving access to the

L0:data or software for performance of a Government contract that contains the clause at

L0:DFARS 252.227-7994, Limitations on the Use or Disclosure of Government-Furnished

L0:Information Marked with Restrictive Legends.

L1:(iv) The Contractor has the exclusive right, including the right to license

L0:others, to use technical data or computer software in which the Government has

L0:obtained government purpose rights under this contract for any commercial purpose

L0:during the time period specified in the government purpose rights legend prescribed in

L0:paragraph (g)(3) of this clause.

L1:(3) Limited rights. (i) Except as provided in paragraphs (c)(1)(ii) and (c)(1)(iv)

L0:through (c)(1)(ix) of this clause, the Government shall have limited rights in technical

L0:data?

L1:(A) Related to items, components, or processes developed exclusively at

L0:private expense and marked with the limited rights legend prescribed in paragraph (g)

L0:of this clause; or

L1:(B) Created exclusively at private expense in the performance of a

L0:contract that does not require the development, manufacture, construction, or

L0:production of items, components, or processes.

L1:(ii) The Government will require a recipient of limited rights data for

L0:emergency repair or overhaul to destroy the data and all copies in its possession

L0:promptly following completion of the emergency repair/overhaul and to notify the

L0:Contractor that the data have been destroyed.

L1:(iii) The Contractor, its subcontractors, and suppliers are not required to

L0:provide the Government additional rights to use, modify, reproduce, release, perform,

L0:display, or disclose technical data furnished to the Government with limited rights.

L0:However, if the Government desires to obtain additional rights in technical data in

L0:which it has limited rights, the Contractor agrees to promptly enter into negotiations

L0:with the Contracting Officer to determine whether there are acceptable terms for

L0:transferring such rights. The Contractor shall ensure that any resulting license

L0:agreement, made part of the contract, lists or describes all technical data for which the

L0:Government has been granted additional rights and specifies those additional rights.

L1:(iv) The Contractor acknowledges that?

L0:data to covered Government support contractors;

L1:(A) The Government is authorized to release or disclose limited rights

L0:disclosure;

L1:(B) The Government will notify the contractor of such release or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:rights legend may?

L1:(C) The Contractor or the party asserting restrictions in the limited

L1:(1) Require each covered Government support contractor to enter

L0:into a nondisclosure agreement directly with the Contractor or the party asserting

L0:restrictions regarding use of the data; or

L0:agreement; and

L1:(2) Waive in writing the requirement for a nondisclosure

L1:(D) Any such nondisclosure agreement shall address the restrictions on

L0:the covered Government support contractor's use of the limited rights data as set forth

L0:in the clause at DFARS 252.227-7994, Limitations on the Use or Disclosure of

L0:Government-Furnished Information Marked with Restrictive Legends. The

L0:nondisclosure agreement shall not include any additional terms and conditions unless

L0:mutually agreed to by the parties to the nondisclosure agreement.

L1:(4) Restricted rights. (i) The Government shall have restricted rights in other

L0:than commercial computer software the contractor must deliver, or that is otherwise

L0:provided, to the Government under this contract that was developed exclusively at

L0:private expense.

L1:(ii) The Contractor, its subcontractors, or suppliers are not required to

L0:provide the Government additional rights in other than commercial computer software

L0:delivered or otherwise provided to the Government with restricted rights. However, if

L0:the Government desires to obtain additional rights in such software, the Contractor

L0:agrees to promptly enter into negotiations with the Contracting Officer to determine
L0:whether there are acceptable terms for transferring such rights. The Contractor shall
L0:ensure that any resulting license agreement, made part of the contract, lists or
L0:describes all other than commercial computer software for which the Government has
L0:been granted additional rights and specifies those additional rights.

L1:(iii) The Contractor acknowledges that?
L0:rights computer software to covered Government support contractors;
L1:(A) The Government is authorized to release or disclose restricted
L0:disclosure;
L1:(B) The Government will notify the Contractor of such release or
L0:rights legend may?
L1:(C) The Contractor or the party asserting restrictions in the restricted
L1:(1) Require each such covered Government support contractor to
L0:enter into a nondisclosure agreement directly with the Contractor or the party asserting
L0:restrictions regarding the use of the software; or
L0:agreement; and
L1:(2) Waive in writing the requirement for a nondisclosure
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227
L1:(D) Any such nondisclosure agreement shall address the restrictions on
L0:the covered Government support contractor's use of the restricted rights software as set
L0:forth in the clause at DFARS 252.227-7994, Limitations on the Use or Disclosure of
L0:Government-Furnished Information Marked with Restrictive Legends. The
L0:nondisclosure agreement shall not include any additional terms and conditions unless
L0:mutually agreed to by the parties to the nondisclosure agreement.
L1:(5) Specifically negotiated license rights. The standard license rights granted to
L0:the Government under paragraphs (c)(1) through (c)(4) of this clause, including the
L0:period during which the Government shall have government purpose rights in technical
L0:data or computer software, may be modified by mutual agreement but shall not provide
L0:the Government lesser rights than provided in the definition of "limited rights" or
L0:restricted rights" of this clause. Any negotiated rights shall be identified in a license
L0:agreement made part of this contract.
L1:(6) Prior government rights. Technical data or computer software that will be
L0:delivered, furnished, or otherwise provided to the Government under this contract, in
L0:which the Government has previously obtained rights shall be delivered, furnished, or
L0:provided with the preexisting rights, unless?
L1:(i) The parties have agreed otherwise; or
L1:(ii) The restrictions on the Government's rights to use, modify, reproduce,
L0:release, perform, display, or disclose the data or software have expired or no longer
L0:apply.
L1:(7) Release from liability. The Contractor agrees to release the Government
L0:from liability for any authorized release or disclosure of technical data or computer
L0:software made in accordance with this clause or any negotiated license agreement. This
L0:release from liability for the Government also applies to releases or disclosures made by
L0:a third party who received the data or software from an authorized recipient. For any

L0:unauthorized use or disclosure by such third parties of technical data or computer
L0:software marked with restrictive legends, the Contractor agrees to seek relief solely
L0:from that party.

L1:(d) Contractor rights in technical data and computer software. The Contractor
L0:retains all rights not granted to the Government.

L1:(e) Third party copyrighted data and software. The Contractor shall not, without
L0:the written approval of the Contracting Officer, incorporate any copyrighted data or
L0:software in the technical data or computer software the contractor must deliver under
L0:this contract unless the Contractor is the copyright owner or has obtained license rights
L0:for the Government of the appropriate scope set forth in paragraph (c) of this clause,
L0:and has affixed a statement of the license or licenses obtained on behalf of the
L0:Government and other persons to the data transmittal document.

L1:(f) Identification and delivery of data to be delivered with restrictions on use, release,
L0:or disclosure. (1) This paragraph does not apply to restrictions based solely on
L0:copyright.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(2) Except as provided in paragraph (f)(3) of this clause, technical data or
L0:computer software that the Contractor asserts should be furnished to the Government
L0:with restrictions on use, release, or disclosure are identified in an attachment to this
L0:contract (the Attachment). The Contractor shall not deliver any data or software with
L0:restrictive markings unless the data are listed on the Attachment.

L1:(3) In addition to the assertions made in the Attachment, the Contractor may
L0:identify other assertions after award when based on new information or inadvertent
L0:omissions unless the inadvertent omissions would have materially affected the source
L0:selection decision. The Contractor shall submit such identification and assertions to the
L0:Contracting Officer as soon as practicable prior to the scheduled date for delivery of the
L0:data or software, in the following format, and signed by an official authorized to
L0:contractually obligate the Contractor:

L0:Identification and Assertion of Restrictions on the Government's Use,

L0:Release, or Disclosure of Technical Data or Computer Software

L0:The Contractor asserts for itself, or the persons identified below, that the Government's
L0:rights to use, release, or disclose the following technical data or computer software
L0:should be restricted?

L0:Technical data or

L0:computer software to be

L0:Basis for

L0:delivered with restrictions

L0:assertion 2

L0:Asserted

L0:Name of person

L0:rights

L0:asserting

L0:category 3

L0:restrictions 4

L0:1

L1:(LIST)

L1:(LIST)

L1:(LIST)

L1:(LIST)

L0:1 If the assertion is applicable to items, components or processes developed at

L0:private expense, identify both the data and each such item, component, or process.

L0:2 Generally, the development of an item, component, process, or computer software

L0:at private expense, either exclusively or partially, is the only basis for asserting

L0:restrictions on the Government?s rights to use, release, or disclose computer

L0:software or technical data related to such items, components, or processes.

L0:Indicate whether development was exclusively or partially at private expense. If

L0:development was not at private expense, enter the specific reason for asserting

L0:that the Government?s rights should be restricted.

L0:3 Enter asserted rights category (e.g., rights in SBIR/STTR data generated under

L0:another contract, limited rights, restricted rights, or government purpose rights

L0:under this or a prior contract, or specifically negotiated licenses).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:Technical data or

L0:computer software to be

L0:Basis for

L0:delivered with restrictions

L0:assertion 2

L0:1

L0:Asserted

L0:Name of person

L0:rights

L0:asserting

L0:category 3

L0:restrictions 4

L0:4 Corporation, individual, or other person, as appropriate.

L0:Date

L0:Printed Name and Title

L0:Signature

L0:(End of identification and assertion)

L1:(4) When requested by the Contracting Officer, the Contractor shall provide

L0:sufficient information to enable the Contracting Officer to evaluate the Contractor?s

L0:assertions. The Contracting Officer reserves the right to add the Contractor?s assertions

L0:to the Attachment and validate any listed assertion, at a later date, in accordance with

L0:the procedures in the DFARS 252.227-7997, Validation of Asserted Restrictions, clause

L0:of this contract.

L1:(g) Marking requirements. The Contractor, and its subcontractors or suppliers, may

L0:only assert restrictions on the Government?s rights to use, modify, reproduce, release,

L0:perform, display, or disclose technical data or computer software the Contractor must
L0:deliver under this contract by marking the deliverable data or software subject to
L0:restriction. Except as provided in paragraph (g)(7) of this clause, only the following
L0:legends are authorized under this contract: the government purpose rights legend at
L0:paragraph (g)(3) of this clause; the limited rights legend at paragraph (g)(4) of this
L0:clause; the restricted rights legend at paragraph (g)(5) of this clause; the special license
L0:rights legend at paragraph (g)(6) of this clause; and a notice of copyright as prescribed
L0:under 17 U.S.C. 401 or 402.

L1:(1) General marking instructions. The Contractor, or its subcontractors or
L0:suppliers, shall conspicuously and legibly mark the appropriate legend on all technical
L0:data or computer software that qualify for such markings. The authorized legends shall
L0:be placed on the transmittal document or storage container and, for printed material,
L0:each page of the printed material containing technical data or computer software for
L0:which restrictions are asserted. When only portions of a page of printed material are
L0:subject to the asserted restrictions, such portions shall be identified by circling,
L0:underscoring, with a note, or other appropriate identifier. Technical data or computer
L0:software transmitted directly from one computer or computer terminal to another shall
L0:contain a notice of asserted restrictions. For software that will or might be used in
L0:combat or situations that simulate combat conditions, the contractor shall not insert
L0:instructions that interfere with or delay the operation of computer software in order to
L0:display a restrictive rights legend or other license statement at any time prior to or
L0:during use of the computer software, or otherwise cause such interference or delay,
L0:unless the Contracting Officer's written permission to deliver such software has been
L0:obtained prior to delivery. Reproductions of technical data or computer software or any
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227
L0:portions thereof subject to asserted restrictions shall also reproduce the asserted
L0:restrictions.

L1:(2) Omitted markings. (i) Technical data or computer software delivered or
L0:otherwise provided under this contract without restrictive markings will be presumed
L0:to have been delivered with unlimited rights. To the extent practicable, if the
L0:Contractor has requested permission (see paragraph (g)(2)(ii) of this clause) to correct
L0:an inadvertent omission of markings, the Contracting Officer will not release or disclose
L0:the technical data or computer software pending evaluation of the request.

L1:(ii) The Contractor may request permission to have conforming and justified
L0:restrictive markings placed on unmarked technical data or computer software at its
L0:expense. The request must be received by the Contracting Officer within 6 months
L0:following the furnishing or delivery of such technical data or computer software, or any
L0:extension of that time approved by the Contracting Officer. The Contractor shall?
L0:been marked;

L1:(A) Identify the technical data or computer software that should have

L1:(B) Demonstrate that the omission of the marking was inadvertent, the
L0:proposed marking is justified and conforms with the requirements for the marking of
L0:technical data or computer software contained in this clause; and

L1:(C) Acknowledge, in writing, that the Government has no liability with

L0:respect to any disclosure, reproduction, or use of the technical data or computer

L0:software made prior to the addition of the marking or resulting from the omission of the

L0:marking.

L1:(3) Government purpose rights markings. Technical data or computer software

L0:delivered or otherwise furnished to the Government with government purpose rights

L0:shall be marked as follows:

L0:GOVERNMENT PURPOSE RIGHTS

L0:Contract Number

L0:Contractor Name

L0:Contractor Address

L0:Expiration Date

L0:The Government's rights to use, modify, reproduce, release, perform, display, or disclose

L0:these technical data or computer software are restricted by the government purpose

L0:rights license in the DFARS 252.227-7989, Rights in Technical Data, Computer

L0:Software, and Computer Software Documentation?Other Than Commercial Products

L0:and Commercial Services, clause contained in the above identified contract. No

L0:restrictions apply after the expiration date shown above. Any reproduction of technical

L0:data or portions thereof marked with this legend must also reproduce the markings.

L0:(End of legend)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(4) Limited rights markings. Data delivered or otherwise furnished to the

L0:Government with limited rights shall be marked as follows:

L0:LIMITED RIGHTS

L0:Contract Number

L0:Contractor Name

L0:Contractor Address

L0:The Government's rights to use, modify, reproduce, release, perform, display, or disclose

L0:these technical data are restricted by the limited rights license in the DFARS 252.227-

L0:7989, Rights in Technical Data, Computer Software, and Computer Software

L0:Documentation?Other Than Commercial Products and Commercial Services, clause

L0:contained in the above identified contract. Any reproduction of technical data or

L0:portions thereof marked with this legend must also reproduce the markings. Any

L0:person, other than the Government, who has been provided access to such data must

L0:promptly notify the above named Contractor.

L0:(End of legend)

L1:(5) Restricted rights markings. Software delivered or otherwise furnished to the

L0:Government with restricted rights shall be marked as follows:

L0:RESTRICTED RIGHTS

L0:Contract Number

L0:Contractor Name

L0:Contractor Address

L0:The Government's rights to use, modify, reproduce, release, perform, display, or disclose

L0:this software are restricted by the restricted rights license in the DFARS 252.227-7014,

L0:Rights in Other Than Commercial Computer Software and Other Than Commercial
L0:Computer Software Documentation, clause contained in the above identified contract.
L0:Any reproduction of computer software or portions thereof marked with this legend
L0:must also reproduce the markings. Any person, other than the Government, who has
L0:been provided access to such software must promptly notify the above named
L0:Contractor.

L0:(End of legend)

L1:(6) Special license rights markings. (i) Technical data or computer software in
L0:which the Government?s rights stem from a specifically negotiated license shall be
L0:marked as follows:

L0:SPECIAL LICENSE RIGHTS

L0:The Government?s rights to use, modify, reproduce, release, perform, display, or disclose
L0:these data or software are restricted by Contract Number [Insert contract number],
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227
L0:License Number [Insert license identifier]. Any reproduction of technical data, computer
L0:software, or portions thereof marked with this legend must also reproduce the
L0:markings.

L0:(End of legend)

L1:(ii) For purposes of this clause, special licenses do not include government
L0:purpose license rights acquired under a prior contract (see paragraph (c)(5) of this
L0:clause).

L1:(7) Preexisting data or software markings. If the terms of a prior contract or
L0:license permitted the Contractor to restrict the Government?s rights to use, modify,
L0:reproduce, release, perform, display, or disclose technical data or computer software
L0:deliverable under this contract, and those restrictions are still applicable, the
L0:Contractor may mark such data or software with the appropriate restrictive legend for
L0:which the data or software qualified under the prior contract or license. The Contractor
L0:shall follow the marking procedures in paragraph (g)(1) of this clause.

L1:(h) Contractor procedures and records. Throughout performance of this contract,
L0:the Contractor and its subcontractors or suppliers that will deliver technical data or
L0:computer software with other than unlimited rights, shall?

L1:(1) Have, maintain, and follow written procedures sufficient to assure that
L0:restrictive markings are used only when authorized by the terms of this clause; and

L1:(2) Maintain records sufficient to justify the validity of any restrictive markings
L0:on technical data or computer software delivered under this contract.

L1:(i) Removal of unjustified and nonconforming markings?(1) Unjustified technical
L0:data markings. The rights and obligations of the parties regarding the validation of
L0:restrictive markings on technical data or computer software delivered or to be delivered
L0:under this contract are contained in the DFARS 252.227-7997, Validation of Asserted
L0:Restrictions, clause of this contract. Notwithstanding any provision of this contract
L0:concerning inspection and acceptance, the Government may ignore or, at the
L0:Contractor?s expense, correct or strike a marking if, in accordance with the procedures
L0:in the Validation of Asserted Restrictions clause of this contract, a restrictive marking is
L0:determined to be unjustified.

L1:(2) Nonconforming technical data or computer software markings. A

L0:nonconforming marking is a marking placed on technical data or computer software

L0:delivered or otherwise furnished to the Government under this contract that is not in

L0:the format authorized by this contract. Correction of nonconforming markings is not

L0:subject to the DFARS 252.227-7997, Validation of Asserted Restrictions, clause of this

L0:contract. If the Contracting Officer notifies the Contractor of a nonconforming marking

L0:and the Contractor fails to remove or correct such marking within 60 days, the

L0:Government may ignore or, at the Contractor's expense, remove or correct any

L0:nonconforming marking.

L1:(j) Relation to patents. Nothing contained in this clause shall imply a license to the

L0:Government under any patent or be construed as affecting the scope of any license or

L0:other right otherwise granted to the Government under any patent.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(k) Limitation on charges for rights in technical data, computer software, or

L0:computer software documentation. (1) The Contractor shall not charge to this contract

L0:any cost, including, but not limited to, license fees, royalties, or similar charges, for

L0:rights in technical data, computer software, or computer software documentation the

L0:Contractor must deliver under this contract when?

L1:(i) The Government has acquired, by any means, the same or greater rights

L0:in the data or software; or

L1:(ii) The data or software are available to the public without restrictions.

L1:(2) The limitation in paragraph (k)(1) of this clause?

L1:(i) Includes costs charged by a subcontractor or supplier, at any tier, or costs

L0:incurred by the Contractor to acquire rights in subcontractor or supplier technical data,

L0:computer software, or computer software documentation, if the subcontractor or

L0:supplier has been paid for such rights under any other Government contract or under a

L0:license conveying the rights to the Government; and

L1:(ii) Does not include the reasonable costs of reproducing, handling, or

L0:mailing the documents or other media in which the technical data, computer software,

L0:or computer software documentation will be delivered.

L1:(l) Applicability to subcontractors or suppliers. (1) The Contractor shall ensure that

L0:the rights afforded its subcontractors and suppliers under 10 U.S.C. 3771-3775, 10

L0:U.S.C. 3781-3786, and the identification, assertion, and delivery processes of paragraph

L1:(f) of this clause are recognized and protected.

L2:(2)(i) Except as provided in paragraph (l)(2)(ii) of this clause, the Contractor

L0:shall include this clause in any subcontract or contractual instrument under which

L0:technical data or computer software will be obtained from a subcontractor or supplier

L0:for delivery to the Government. This requirement applies to technical data or software

L0:related to other than commercial products or commercial services, or related to

L0:commercial products or commercial services developed in any part with Government

L0:funds. The Contractor shall also require its subcontractors and suppliers to include this

L0:clause, without alteration except to identify the parties, in any contractual instrument

L0:under which technical data or computer software will be obtained from a subcontractor

L0:or supplier for delivery to the Government. This clause will govern the technical data

L0:related to an other than commercial product or service or to any portion of a commercial
L0:product or commercial service that was developed in any part at Government expense,
L0:and the clause at 252.227-7990 will govern the technical data related to any portion of a
L0:commercial item that was developed exclusively at private expense. No other clause
L0:shall be used to expand or reduce the Government's, the Contractor's, or a higher-tier
L0:subcontractor's or supplier's rights in a subcontractor's or supplier's technical data,
L0:computer software, or computer software documentation.

L1:(ii) The Contractor shall use the clause at DFARS 252.227-7993, Rights in
L0:Other Than Commercial Technical Data and Computer Software?Small Business
L0:Innovation Research Program and Small Business Technology Transfer Program, to
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227
L0:govern technical data, computer software, or computer software documentation that is
L0:SBIR/STTR data.

L1:(3) Technical data, computer software, or computer software documentation a
L0:subcontractor or supplier must deliver shall normally be delivered to the next higher-
L0:tier contractor, subcontractor, or supplier. However, when there is a requirement in the
L0:prime contract for data which may be submitted with other than unlimited rights by a
L0:subcontractor or supplier, then said subcontractor or supplier may fulfill its
L0:requirement by submitting such data or software directly to the Government, rather
L0:than through a higher-tier contractor, subcontractor, or supplier.

L1:(4) The Contractor and higher-tier subcontractors or suppliers shall not use the
L0:award of a contract as economic leverage to obtain rights in technical data, computer
L0:software, or computer software documentation from their subcontractors or suppliers.

L1:(5) In no event shall the Contractor use its obligation to recognize and protect
L0:subcontractor or supplier rights in technical data, computer software, or computer
L0:software documentation as an excuse for failing to satisfy its contractual obligations to
L0:the Government.

L0:(End of clause)

L0:Alternate I (DEVIATION 2026-O0036) (FEB 2026). As prescribed in 227.7103-6(b)(1)
L0:and (d), add the following paragraph (m) to the basic clause:

L1:(m) Publication for sale. (1) This paragraph only applies to technical data or
L0:computer software in which the Government has obtained unlimited rights or a license
L0:to make an unrestricted release of technical data or computer software.

L1:(2) The Government will not publish a deliverable technical data or computer
L0:software item or items identified in this contract as being subject to paragraph (m) of
L0:this clause or authorize others to publish such data or software on its behalf if, prior to
L0:publication for sale by the Government and within 24 months following the date
L0:specified in this contract for delivery of such data or software or the removal of any
L0:national security or export control restrictions, whichever is later, the Contractor
L0:publishes that item or items for sale and promptly notifies the Contracting Officer of
L0:such publication(s). Any such publication shall include a notice identifying the number
L0:of this contract and the Government's rights in the published data or software.

L1:(3) This limitation on the Government's right to publish for sale shall continue
L0:as long as the data are reasonably available to the public for purchase.

L0:Alternate II (DEVIATION 2026-O0036) (FEB 2026). As prescribed in 227.7103-6(b)(2),
L0:add the following definition of ?Vessel design? in alphabetical order to paragraph (a) and
L0:add paragraph (c)(7) to the basic clause:
L1:(a) ?Vessel design? means the design of a vessel, boat, or craft, and its components,
L0:including the hull, decks, superstructure, and the exterior surface shape of all external
L0:shipboard equipment and systems. The term includes designs covered by 10 U.S.C.
L0:8687, and designs protectable under 17 U.S.C. 1301, et seq.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227
L2:(c)(7) Vessel designs. For a vessel design (including a vessel design embodied in a
L0:useful article) that is developed or delivered under this contract, the Government shall
L0:have the right to make and have made any useful article that embodies the vessel
L0:design, to import the article, to sell the article, and to distribute the article for sale or to
L0:use the article in trade, to the same extent that the Government is granted rights in the
L0:technical data related to the vessel design.

252.227-7014 [Reserved]

Status: active

L0:252.227-7014 [Reserved]

252.227-7991 Rights in Bid or Proposal Information. (DEVIATION 2026-

Status: active

L0:252.227-7991 Rights in Bid or Proposal Information. (DEVIATION 2026-
L0:O0036)
L0:As prescribed in 227.7103-6(g)(1), or 227.7104-4(b)(1), use the following clause
L0:RIGHTS IN BID OR PROPOSAL INFORMATION ((DEVIATION 2026-O0036)
L0:(FEB 2026)
L1:(a) Definitions. As used in this clause?
L0:?Computer software? is defined in?
L1:(1) The 252.227-7989, Rights in Technical Data, Computer Software, and
L0:Computer Software Documentation?Other Than Commercial Products and
L0:Commercial Services, clause of this contract; or
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227
L1:(2) If this is a contract awarded under the Small Business Innovation Research
L0:Program or Small Business Technology Transfer Program, the 252.227-7993, Rights in
L0:Other Than Commercial Technical Data and Computer Software?Small Business
L0:Innovation Research Program and Small Business Technology Transfer Program,
L0:clause of this contract.
L0:?Technical data? is defined in?
L1:(1) The 252.227-7989, Rights in Technical Data, Computer Software, and

L0:Computer Software Documentation?Other Than Commercial Products and

L0:Commercial Services, clause of this contract; or

L1:(2) If this is a contract awarded under the Small Business Innovation Research

L0:Program or Small Business Technology Transfer Program, the 252.227-7993, Rights in

L0:Other Than Commercial Technical Data and Computer Software?Small Business

L0:Innovation Research Program and Small Business Technology Transfer Program,

L0:clause of this contract.

L1:(b) Government rights before contract award. By submission of its offer, the Offeror

L0:agrees that the Government?

L1:(1) May reproduce the bid or proposal, or any portions thereof, to the extent

L0:necessary to evaluate the offer.

L1:(2) Except as provided in paragraph (d) of this clause, will use information

L0:contained in the bid or proposal only for evaluation purposes and will not disclose,

L0:directly or indirectly, such information to any person including potential evaluators,

L0:unless that person has been authorized by the head of the agency, his or her designee,

L0:or the Contracting Officer to receive such information.

L1:(c) Government rights after contract award. The Contractor agrees?

L1:(1) Except as provided in paragraphs (c)(2), (d), and (e) of this clause, the

L0:Government has the rights to use, modify, reproduce, release, perform, display, or

L0:disclose information contained in the Contractor?s bid or proposal within the

L0:Government. The Government will not release, perform, display, or disclose such

L0:information outside the Government without the Contractor?s written permission.

L1:(2) The Government?s right to use, modify, reproduce, release, perform, display,

L0:or disclose information that is technical data or computer software the Contractor must

L0:deliver under this contract are determined by the Defense Federal Acquisition

L0:Regulation Supplement (DFARS) 252.227-7989, Rights in Technical Data, Computer

L0:Software, and Computer Software Documentation?Other Than Commercial Products

L0:and Commercial Services; ; or DFARS 252.227-7993, Rights in Other Than Commercial

L0:Technical Data and Computer Software?Small Business Innovation Research Program

L0:and Small Business Technology Transfer Program, clause of this contract.

L1:(d) Government-furnished information. The Government?s rights with respect to

L0:Government-furnished technical data or computer software contained in the

L0:Contractor?s bid or proposal are subject only to restrictions on use, modification,

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:reproduction, release, performance, display, or disclosure, if any, imposed by the

L0:developer or licensor of such data or software.

L1:(e) Information available without restrictions. The Government?s rights to use,

L0:modify, reproduce, release, perform, display, or, disclose information contained in a bid

L0:or proposal, including technical data or computer software, and to permit others to do

L0:so, shall not be restricted in any manner if such information has been released or

L0:disclosed to the Government or to other persons without restrictions other than a

L0:release or disclosure resulting from the sale, transfer, or other assignment of interest in

L0:the information to another party or the sale or transfer of some or all of a business

L0:entity or its assets to another party.

L1:(f) Flowdown. Contractor shall include this clause in all subcontracts or similar
L0:contractual instruments and require its subcontractors or suppliers to do so without
L0:alteration, except to identify the parties.
L0:(End of clause)

252.227-7992 Identification and Assertion of Use, Release, or Disclosure

Status: active

L0:252.227-7992 Identification and Assertion of Use, Release, or Disclosure

L0:Restrictions. (DEVIATION 2026-O0036)

L0:As prescribed in 227.7103-3(b) or 227.7104-4(b)(2), use the following provision:

L0:IDENTIFICATION AND ASSERTION OF USE, RELEASE, OR DISCLOSURE

L0:RESTRICTIONS (DEVIATION 2026-O0036) (FEB 2026)

L1:(a) Definitions. As used in this provision?

L0:?Computer software? is defined in?

L1:(1) The 252.227-7989, Rights in Technical Data, Computer Software, and

L0:Computer Software Documentation?Other Than Commercial Products and

L0:Commercial Services; or

L1:(2) If this solicitation contemplates a contract under the Small Business

L0:Innovation Research Program or Small Business Technology Transfer Program, the

L0:252.227-7993, Rights in Other Than Commercial Technical Data and Computer

L0:Software?Small Business Innovation Research Program and Small Business

L0:Technology Transfer Program, clause of this solicitation.

L0:?SBIR/STTR data? is defined in the 252.227-7993, Rights in Other Than Commercial

L0:Technical Data and Computer Software?Small Business Innovation Research Program

L0:and Small Business Technology Transfer Program, clause of this solicitation.

L0:?Technical data? is defined in?

L1:(1) The 252.227-7989, Rights in Technical Data, Computer Software, and

L0:Computer Software Documentation?Other Than Commercial Products and

L0:Commercial Services, clause of this solicitation; or

L1:(2) If this solicitation contemplates a contract under the Small Business

L0:Innovation Research Program or Small Business Technology Transfer Program, the

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:252.227-7993, Rights in Other Than Commercial Technical Data and Computer

L0:Software?Small Business Innovation Research Program and Small Business

L0:Technology Transfer Program, clause of this solicitation.

L1:(b) The identification and assertion requirements in this provision apply only to

L0:technical data, including computer software documentation, or computer software the

L0:Contractor must deliver with other than unlimited rights. For contracts to be awarded

L0:under the Small Business Innovation Research (SBIR) Program or Small Business

L0:Technology Transfer Program (STTR) Program, these requirements apply to

L0:SBIR/STTR data that will be generated under the resulting contract and will be

L0:delivered with SBIR/STTR data rights and to any other data that will be delivered with

L0:other than unlimited rights. Notification and identification are not required for
L0:restrictions based solely on copyright.

L1:(c) Offers submitted in response to this solicitation shall identify, to the extent
L0:known at the time an offer is submitted to the Government, the technical data or
L0:computer software that the Offeror, its subcontractors or suppliers, or potential
L0:subcontractors or suppliers, assert should be furnished to the Government with
L0:restrictions on use, release, or disclosure.

L1:(d) The Offeror's assertions, including the assertions of its subcontractors or
L0:suppliers or potential subcontractors or suppliers, shall be submitted as an attachment
L0:to its offer in the following format, dated and signed by an official authorized to
L0:contractually obligate the Offeror:

L0:Identification and Assertion of Restrictions on the Government's Use,
L0:Release, or Disclosure of Technical Data or Computer Software
L0:The Offeror asserts for itself, or the persons identified below, that the Government's
L0:rights to use, release, or disclose the following technical data or computer software
L0:should be restricted:

L0:Technical data or

L0:computer

L0:software to be

L0:delivered with

L0:restrictions 1

L0:Basis for

L0:Asserted rights

L0:assertion 2

L0:category 3

L0:Name of person

L0:asserting

L0:restrictions 4

L1:(LIST) 5

L1:(LIST)

L1:(LIST)

L1:(LIST)

L0:1 For technical data (other than computer software documentation) related to
L0:items, components, or processes developed at private expense, identify both the
L0:deliverable technical data and each such items, component, or process. For
L0:computer software or computer software documentation identify the software or
L0:documentation.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:Technical data or

L0:computer

L0:software to be

L0:delivered with

L0:restrictions 1

L0:Basis for

L0:Asserted rights

L0:assertion 2

L0:category 3

L0:Name of person

L0:asserting

L0:restrictions 4

L0:2 Generally, development at private expense, either exclusively or partially, is the

L0:only basis for asserting restrictions. For technical data, other than computer

L0:software documentation, development refers to development of the item,

L0:component, or process to which the data relate. The Government's rights in

L0:computer software documentation generally may not be restricted. For computer

L0:software, development refers to the software. Indicate whether development was

L0:accomplished exclusively or partially at private expense. If development was not

L0:accomplished at private expense, or for computer software documentation, enter

L0:the specific basis for asserting restrictions.

L0:3 Enter asserted rights category (e.g., government purpose license rights from a

L0:prior contract, rights in SBIR/STTR data generated under a contract resulting from

L0:this solicitation or under another contract, limited, restricted, or government

L0:purpose rights under a contract resulting from this solicitation or under a prior

L0:contract, or specially negotiated licenses).

L0:4 Corporation, individual, or other person, as appropriate.

L0:5 Enter "none" when all data or software will be submitted without restrictions.

L0:Date

L0:Printed Name and Title

L0:Signature

L0:(End of identification and assertion)

L1:(e) An offeror's failure to submit, complete, or sign the notification and identification

L0:required by paragraph (d) of this provision with its offer may render the offer ineligible

L0:for award.

L1:(f) If the Offeror is awarded a contract, the assertions identified in paragraph (d) of

L0:this provision shall be listed in an attachment to that contract. Upon request by the

L0:Contracting Officer, the Offeror shall provide sufficient information to enable the

L0:Contracting Officer to evaluate any listed assertion.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:(End of provision)

252.227-7993 clause:

Status: active

L0:252.227-7993 clause:

L1:(1) Redelivery of SBIR data.

L1:(i) SBIR data first generated under a prior SBIR clause and redelivered under the

L0:current SBIR clause. In this example, a contractor generates and delivers SBIR data under L0:a 2016 phase II SBIR contract that includes a prior version of the clause at DFARS 252.227-7993. The contractor delivers identical data in a contiguous series of follow-on contracts, L0:including a later phase III contract that is an extension of the research effort in the 2016 L0:contract. That phase III contract includes the current version of the clause at DFARS L0:252.227-7993. The contractor asserts SBIR data rights in these data. The 2016 contract L0:included the clause at DFARS 252.227-7993, which defined the SBIR data protection period L0:as the period commencing with contract award and ending upon the date 5 years after L0:completion of the project from which such data were generated. This previous definition of L0:the SBIR data protection period applies to the redelivered SBIR data in the contiguous L0:series of follow-on contracts, including the later phase III contract. The SBIR data protection L0:period is extended because the later contract derives from, extends, or completes an effort L0:made under a prior SBIR contract that included the prior version of the clause at DFARS L0:252.227-7993. This is the case even under later contracts that include the current version of L0:the clause at DFARS 252.227-7993 with a non-extendable 20-year SBIR/STTR data L0:protection period. In addition, the SBIR data protection period from the prior version of the L0:clause at DFARS 252.227-7993 may be extended indefinitely for subsequent redeliveries of L0:identical SBIR data as long as the SBIR project has not been completed.

L1:(ii) SBIR data first delivered with the 20-year SBIR data protection period and later L0:redelivered under the current SBIR clause. In another example, a contractor generates and L0:delivers SBIR data under a 2021 phase II SBIR contract. The contractor delivers identical L0:data under a later phase III contract that is an extension of the research effort in the 2021 L0:contract. The contractor asserts SBIR data rights in these data. That 2021 contract L0:included a version of the DFARS 252.227-7993 clause that defines the SBIR data protection L0:period as the period commencing on the date of contract award and ending 20 years after L0:that date. The same definition of the SBIR/STTR data protection period applies to the L0:redelivered SBIR data in the later phase III contract. Redelivery of identical SBIR data under L0:any later contract will not extend the 20-year SBIR data protection period.

L1:(2) Modifications to previously delivered SBIR or STTR data. A contractor generates L0:and delivers SBIR/STTR data under a phase II STTR contract with the current version of the L0:clause at DFARS 252.227-7993. The contractor develops and delivers modified STTR data L0:under a later phase III contract. The contractor asserts SBIR/STTR data rights in these L0:data. The previously delivered portions of the STTR data will be governed by the previous L0:SBIR/STTR data protection period, while the newly developed portions of the STTR data will L0:be governed by a new 20-year SBIR/STTR data protection period.

L1:(3) SBIR or STTR data delivered under a contract and the contractor was not awarded a L0:SBIR or STTR contract. A subcontractor was awarded a SBIR phase I contract. Later, the L0:subcontractor performed SBIR phase III work under a contract awarded to a contractor who L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27 L0:Defense FAR Supplement (DFARS) Part 227 L0:was not awarded a SBIR or STTR contract. The subcontractor furnished technical data and L0:computer software deliverables related to SBIR phase III work performed under this L0:contract. This technical data and computer software was furnished to the Government with L0:SBIR data rights. The clause at DFARS 252.227-7993 should have been included either in L0:the initial contract or via a contract modification, and the Government's rights in this SBIR

L0:data are subject to the terms of the clause at DFARS 252.227-7993.
L0:PGI 227.7106 Contracts for special works.
L1:(c) Examples of special works include, but are not limited, to audiovisual works, scripts,
L0:soundtracks, musical compositions, and adaptations; histories of departments, agencies,
L0:services or units thereof; surveys of Government establishments; instructional works or
L0:guidance to Government officers and employees on the discharge of their official duties;
L0:reports, books, studies, surveys or similar documents; collections of data containing
L0:information pertaining to individuals that, if disclosed, would violate the right of privacy or
L0:publicity of the individuals to whom the information relates; or investigative reports.

252.227-7019 [Reserved]

Status: active

L0:252.227-7019 [Reserved]

252.227-7020 [Reserved]

Status: active

L0:252.227-7020 [Reserved]

252.227-7021 [Reserved]

Status: active

L0:252.227-7021 [Reserved]

252.227-7022 [Reserved]

Status: active

L0:252.227-7022 [Reserved]

252.227-7023 [Reserved]

Status: active

L0:252.227-7023 [Reserved]
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227

252.227-7024 [Reserved]

Status: active

L0:252.227-7024 [Reserved]

252.227-7994 Limitations on the Use or Disclosure of Government-Furnished

Status: active

L0:252.227-7994 Limitations on the Use or Disclosure of Government-Furnished

L0:Information Marked with Restrictive Legends. (DEVIATION 2026-O0036)

L0:As prescribed in 227.7103-6(e) or 227.7104-4(b)(4), use the following clause:

L0:LIMITATIONS ON THE USE OR DISCLOSURE OF GOVERNMENT-FURNISHED**L0:INFORMATION MARKED WITH RESTRICTIVE LEGENDS****L0:(DEVIATION 2026-O0036) (FEB 2026)**

L1:(a) Definitions. As used in this clause?

L1:(1) For contracts in which the Government will furnish the Contractor with

L0:technical data, the terms "covered Government support contractor," "limited rights,"

L0:"restricted rights," and "Government purpose rights" are defined in the clause at

L0:252.227-7989, Rights in Technical Data, Computer Software, and Computer Software

L0:Documentation?Other Than Commercial Products and Commercial Services.

L1:(2) For Small Business Innovation Research (SBIR) Program and Small

L0:Business Technology Transfer (STTR) Program contracts, the terms "covered

L0:Government support contractor," "government purpose rights," "limited rights,"

L0:"restricted rights," and "SBIR/STTR data rights" are defined in the clause at 252.227-

L0:7993, Rights in Other Than Commercial Technical Data and Computer Software?

L0:Small Business Innovation Research Program and Small Business Technology Transfer

L0:Program.

L1:(b) Technical data or computer software provided to the Contractor as Government-

L0:furnished information (GFI) under this contract may be subject to restrictions on use,

L0:modification, reproduction, release, performance, display, or further disclosure.

L1:(1) GFI marked with limited rights, restricted rights, or SBIR/STTR data

L0:rights legends. (i) The Contractor shall use, modify, reproduce, perform, or display

L0:technical data received from the Government with limited rights legends, computer

L0:software received with restricted rights legends, or SBIR/STTR technical data or

L0:computer software received with SBIR/STTR data rights legends (during the

L0:SBIR/STTR data protection period) only in the performance of this contract. The

L0:Contractor shall not, without the express written permission of the party whose name

L0:appears in the legend, release or disclose such data or software to any unauthorized

L0:person.

L1:(ii) If the Contractor is a covered Government support contractor, the

L0:Contractor is also subject to the additional terms and conditions at paragraph (b)(5) of

L0:this clause.

L1:(2) GFI marked with government purpose rights legends. The Contractor shall

L0:use technical data or computer software received from the Government with

L0:government purpose rights legends for government purposes only. The Contractor shall

L0:not, without the express written permission of the party whose name appears in the

L0:restrictive legend, use, modify, reproduce, release, perform, or display such data or

L0:software for any commercial purpose or disclose such data or software to a person other

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:than its subcontractors, suppliers, or prospective subcontractors or suppliers, who
L0:require the data or software to submit offers for, or perform, contracts under this
L0:contract. Prior to disclosing the data or software, the Contractor shall require the
L0:persons to whom disclosure will be made to complete and sign the nondisclosure
L0:agreement at 227.7103-7 of the Defense Federal Acquisition Regulation Supplement

L1:(DFARS).

L1:(3) GFI marked with specially negotiated license rights legends. (i) The
L0:Contractor shall use, modify, reproduce, release, perform, or display technical data or
L0:computer software received from the Government with specially negotiated license
L0:legends only as permitted in the license. Such data or software may not be released or
L0:disclosed to other persons unless permitted by the license and, prior to release or
L0:disclosure, the intended recipient has completed the nondisclosure agreement at
L0:DFARS 227.7103-7. The Contractor shall modify paragraph (1)(c) of the nondisclosure
L0:agreement to reflect the recipient's obligations regarding use, modification,
L0:reproduction, release, performance, display, and disclosure of the data or software.

L1:(ii) If the Contractor is a covered Government support contractor, the
L0:Contractor may also be subject to some or all of the additional terms and conditions at
L0:paragraph (b)(5) of this clause, to the extent such terms and conditions are required by
L0:the specially negotiated license.

L1:(4) GFI technical data marked with commercial restrictive legends. (i) The
L0:Contractor shall use, modify, reproduce, perform, or display technical data that are or
L0:are related to a commercial product or commercial service and are received from the
L0:Government with a commercial restrictive legend (i.e., marked to indicate that such
L0:data are subject to use, modification, reproduction, release, performance, display, or
L0:disclosure restrictions) only in the performance of this contract. The Contractor shall
L0:not, without the express written permission of the party whose name appears in the
L0:legend, use the technical data to manufacture additional quantities of the commercial
L0:products or commercial services, or release or disclose such data to any unauthorized
L0:person.

L1:(ii) If the Contractor is a covered Government support contractor, the
L0:Contractor is also subject to the additional terms and conditions at paragraph (b)(5) of
L0:this clause.

L1:(5) Covered Government support contractors. If the Contractor is a covered
L0:Government support contractor receiving technical data or computer software marked
L0:with restrictive legends pursuant to paragraphs (b)(1)(ii), (b)(3)(ii), or (b)(4)(ii) of this
L0:clause, the Contractor further agrees and acknowledges that?

L1:(i) The technical data or computer software will be accessed and used for the
L0:sole purpose of furnishing independent and impartial advice or technical assistance
L0:directly to the Government in support of the Government's management and oversight
L0:of the program or effort to which such technical data or computer software relates, as
L0:stated in this contract, and shall not be used to compete for any Government or non-
L0:Government contract;

L1:(ii) The Contractor shall take all reasonable steps to protect the technical
L0:data or computer software against any unauthorized release or disclosure;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(iii) The Contractor shall ensure that the party whose name appears in the L0:legend is notified of the access or use within 30 days of the Contractor?s access or use of L0:such data or software;

L1:(iv) The Contractor shall enter into a nondisclosure agreement with the L0:party whose name appears in the legend, if required to do so by that party, and that any L0:such nondisclosure agreement will implement the restrictions on the Contractor?s use of L0:such data or software as set forth in this clause. The nondisclosure agreement shall not L0:include any additional terms and conditions unless mutually agreed to by the parties to L0:the nondisclosure agreement; and

L1:(v) That a breach of these obligations or restrictions may subject the L0:Contractor to?

L1:(A) Criminal, civil, administrative, and contractual actions in law and L0:equity for penalties, damages, and other appropriate remedies by the United States; L0:and

L0:party whose name appears in the legend.

L1:(B) Civil actions for damages and other appropriate remedies by the

L1:(c) Indemnification and creation of third party beneficiary rights. The Contractor L0:agrees?

L1:(1) To indemnify and hold harmless the Government, its agents, and employees L0:from every claim or liability, including attorneys fees, court costs, and expenses, arising L0:out of, or in any way related to, the misuse or unauthorized modification, reproduction, L0:release, performance, display, or disclosure of technical data or computer software L0:received from the Government with restrictive legends by the Contractor or any person L0:to whom the Contractor has released or disclosed such data or software; and

L1:(2) That the party whose name appears on the restrictive legend, in addition to L0:any other rights it may have, is a third-party beneficiary who has the right of direct L0:action against the Contractor, or any person to whom the Contractor has released or L0:disclosed such data or software, for the unauthorized duplication, release, or disclosure L0:of technical data or computer software subject to restrictive legends.

L1:(d) The Contractor shall ensure that its employees are subject to use and L0:nondisclosure obligations consistent with this clause prior to the employees being L0:provided access to or use of any GFI covered by this clause.

252.227-7026 [Reserved]*Status: active*

L0:252.227-7026 [Reserved]
L0:(End of clause)

252.227-7995 Deferred ordering of technical data or computer software*Status: active*

L0:252.227-7995 Deferred ordering of technical data or computer software.

L0:(DEVIATION 2026-O0036)

L0:As prescribed at 227.7103-6(h), use the following clause:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:DEFERRED ORDERING OF TECHNICAL DATA OR COMPUTER SOFTWARE

L0:(DEVIATION 2026-O0036) (FEB 2026)

L0:In addition to technical data or computer software the Contractor must deliver

L0:elsewhere in this contract, the Government may, at any time during the performance of

L0:this contract or within a period of three years after acceptance of all items (other than

L0:technical data or computer software) the Contractor must deliver under this contract or

L0:the termination of this contract, order any technical data or computer software

L0:generated in the performance of this contract or any of its subcontracts. When the

L0:technical data or computer software is ordered, the Contractor shall be compensated for

L0:converting the data or computer software into the prescribed form, for reproduction and

L0:delivery. The Contractor's obligation to deliver technical data related to an item from a

L0:subcontractor expires three years after the Contractor accepts the final delivery of that

L0:item from that subcontractor. The Government's rights to use the data or computer

L0:software shall be pursuant to the clause at 252.227-7989, Rights in Technical Data,

L0:Computer Software, and Computer Software Documentation?Other Than Commercial

L0:Products or Commercial Services, of this contract.

L0:(End of clause)

252.227-7028 Technical data or computer software previously delivered to the

Status: active

L0:252.227-7028 Technical data or computer software previously delivered to the

L0:government.

L0:As prescribed in 227.7103-6(f) or 227.7104-4(b)(4), use the following provision:

L0:TECHNICAL DATA OR COMPUTER SOFTWARE PREVIOUSLY DELIVERED TO

L0:THE GOVERNMENT (JUN 1995)

L0:The Offeror shall attach to its offer an identification of all documents or other media

L0:incorporating technical data or computer software it intends to deliver under this

L0:contract with other than unlimited rights that are identical or substantially similar to

L0:documents or other media that the Offeror has produced for, delivered to, or is obligated

L0:to deliver to the Government under any contract or subcontract. The attachment shall

L0:identify?

L1:(a) The contract number under which the data or software were produced;

L1:(b) The contract number under which, and the name and address of the

L0:organization to whom, the data or software were most recently delivered or will be

L0:delivered; and

L1:(c) Any limitations on the Government's rights to use or disclose the data or

L0:software, including, when applicable, identification of the earliest date the limitations

L0:expire.

252.227-7029 [Reserved]

Status: active

L0:252.227-7029 [Reserved]

L0:(End of provision)

252.227-7996 Technical data?withholding of payment (DEVIATION 2026-

Status: active

L0:252.227-7996 Technical data?withholding of payment (DEVIATION 2026-

L0:O0036).

L0:As prescribed at 227.7103-6(g)(2) or 227.7104-4(b)(5), use the following clause

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:TECHNICAL DATA?WITHHOLDING OF PAYMENT (DEVIATION 2026-O0036)

L0:(FEB 2026)

L1:(a) If technical data the Contractor must deliver under this contract is not delivered

L0:within the time specified by this contract or is deficient upon delivery (including having

L0:restrictive markings not identified in the list described in the clause at 252.227-

L0:7989(f)(2) or 252.227-7993(f)(2) of this contract), the Contracting Officer may until such

L0:data is accepted by the Government, withhold payment to the Contractor of ten percent

L0:(10%) of the total contract price or amount unless a lesser withholding is specified in the

L0:contract. Payments shall not be withheld nor any other action taken pursuant to this

L0:paragraph when the Contractor?s failure to make timely delivery or to deliver such data

L0:without deficiencies arises out of causes beyond the control and without the fault or

L0:negligence of the Contractor.

L1:(b) The withholding of any amount or subsequent payment to the Contractor shall

L0:not be construed as a waiver of any rights accruing to the Government under this

L0:contract.

L0:(End of clause)

252.227-7031 [Reserved]

Status: active

L0:252.227-7031 [Reserved]

252.227-7032 [Reserved]

Status: active

L0:252.227-7032 [Reserved]

252.227-7033 [Reserved]

Status: active

L0:252.227-7033 [Reserved]

252.227-7034 - 252.227-7036 [Reserved]

Status: active

L0:252.227-7034 - 252.227-7036 [Reserved]

252.227-7997 Validation of Asserted Restrictions. (DEVIATION 2026-O0036)

Status: active

L0:252.227-7997 Validation of Asserted Restrictions. (DEVIATION 2026-O0036)

L0:As prescribed in 227.7103-6(g), 227.7104-4(b)(6), or 227.7203-6(c), use the following

L0:clause:

L0:VALIDATION OF ASSERTED RESTRICTIONS (DEVIATION 2026-O0036)**L0:(FEB 2026)**

L1:(a) Definitions. The terms used in this clause are defined in the 252.227-7989,

L0:Rights in Technical Data, Computer Software, and Computer Software

L0:Documentation?Other Than Commercial Products and Commercial Services, clause of

L0:this contract.

L1:(b) Technical data related to commercial products or commercial services?

L0:presumption regarding development exclusively at private expense. For technical data

L0:related to commercial products or commercial services, the Contracting Officer will

L0:presume that the Contractor?s or a subcontractor?s asserted use or release restrictions

L0:with respect to a commercial product or commercial service are justified on the basis

L0:that the item was developed exclusively at private expense. The Contracting Officer

L0:will not issue a challenge unless there are reasonable grounds to question the validity of

L0:the assertion that the commercial item was developed exclusively at private expense.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(c) Justification. The Contractor or subcontractor at any tier is responsible for

L0:maintaining records sufficient to justify the validity of its asserted restrictions on the

L0:rights of the Government and others to use, duplicate, release, or disclose technical data

L0:or computer software delivered, required to be delivered, or otherwise provided to the

L0:Government under the contract or subcontract. Except as provided in paragraph (b) of

L0:this clause, the Contractor or subcontractor shall be prepared to furnish to the

L0:Contracting Officer a written justification for such asserted restrictions in response to a

L0:challenge under paragraph (e) of this clause.

L1:(d) Prechallenge request for information related to asserted restrictions on technical

L0:data. (1) The Contracting Officer may request the Contractor or subcontractor to

L0:furnish a written explanation for any asserted restriction on the right of the United

L0:States or others to use, disclose, or release technical data. If, upon review of the

L0:explanation submitted, the Contracting Officer cannot determine the basis of the

L0:asserted restriction, the Contracting Officer may further request the Contractor or L0:subcontractor to furnish additional information in the records of, or otherwise in the L0:possession of or reasonably available to, the Contractor or subcontractor to justify the L0:validity of any asserted restriction on technical data delivered, to be delivered, or L0:otherwise provided to the Government under the contract or subcontract (e.g., a L0:statement of facts accompanied with supporting documentation). The Contractor or L0:subcontractor shall submit such written data as requested by the Contracting Officer L0:within the time required or such longer period as may be mutually agreed.

L1:(2) If the Contracting Officer, after reviewing the written data furnished L0:pursuant to paragraph (d)(1) of this clause, or any other available information related to L0:the validity of an asserted restriction, determines that reasonable grounds exist to L0:question the current validity of the asserted restriction and that continued adherence to L0:the asserted restriction would make impracticable the subsequent competitive L0:acquisition of the item or process to which the technical data relates, the Contracting L0:Officer will follow the procedures in paragraph (f) of this clause.

L1:(3) If the Contractor or subcontractor fails to respond to the Contracting L0:Officer's request for information under paragraph (d)(1) of this clause, and the L0:Contracting Officer determines that continued adherence to the asserted restriction L0:would make impracticable the subsequent competitive acquisition of the item or process L0:to which the technical data relates, the Contracting Officer may challenge the validity of L0:the asserted restriction as described in paragraph (f) of this clause.

L1:(e) Prechallenge request for information related to assertion restrictions on computer L0:software. (1) The Contracting Officer may request the Contractor to provide sufficient L0:information to enable the Contracting Officer to evaluate the Contractor's asserted L0:restrictions. Such information shall be based upon the records required by this clause L0:or other information reasonably available to the Contractor.

L1:(2) Based upon the information provided, if the?

L1:(i) Contractor agrees that an asserted restriction is not valid, the L0:Contracting Officer may?

L0:expense; or

L1:(A) Strike or correct the unjustified marking at the Contractor's L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27 L0:Defense FAR Supplement (DFARS) Part 227

L1:(B) Return the computer software to the Contractor for correction at the L0:Contractor's expense. If the Contractor fails to correct or strike the unjustified marking L0:and return the corrected software to the Contracting Officer within 60 days following L0:receipt of the software, the Contracting Officer may correct or strike the marking at the L0:Contractor's expense;

L1:(ii) Contracting Officer concludes that the asserted restriction is appropriate L0:for this contract, the Contracting Officer shall so notify the Contractor in writing.

L1:(3) The Contractor's failure to provide a timely response to a Contracting L0:Officer's request for information or failure to provide sufficient information to enable the L0:Contracting Officer to evaluate an asserted restriction shall constitute reasonable L0:grounds for questioning the validity of an asserted restriction.

L1:(f) Challenge. (1) Notwithstanding any provision of this contract concerning

L0:inspection and acceptance, if the Contracting Officer determines that a challenge to the L0:asserted restriction is warranted, the Contracting Officer will send a written challenge L0:notice to the Contractor or subcontractor making the asserted restriction. The L0:challenge notice and all related correspondence shall be subject to handling procedures L0:for classified information and controlled unclassified information. Such challenge will?

L1:(i) State the specific grounds for challenging the asserted restriction L0:including, for technical data related to commercial products or commercial services, L0:sufficient information to reasonably demonstrate that the commercial product or L0:commercial service was not developed exclusively at private expense;

L1:(ii) Require a response within 60 days justifying the assertion based upon L0:records kept in accordance with paragraph (c) of this clause and providing sufficient L0:evidence as to the current validity of the asserted restriction;

L1:(iii) State that a Contracting Officer's final decision, issued pursuant to L0:paragraph (h) of this clause, or action of a court of competent jurisdiction or Board of L0:Contract Appeals that sustained the validity of an identical assertion made by the L0:Contractor (or a licensee) sustaining the validity of a prior asserted restriction identical L0:to the current asserted restriction, within the 3-year period preceding the current L0:challenge, shall serve as justification for the current asserted restriction if the prior L0:validated restriction was asserted by the same Contractor or subcontractor (or any L0:licensee of such Contractor or subcontractor) to which such notice is being provided; and

L1:(iv) State that failure to respond to the challenge notice may result in L0:issuance of a final decision pursuant to paragraph (g) of this clause.

L1:(2) The Contracting Officer will extend the time for response as appropriate if L0:the Contractor or subcontractor submits a written request showing the need for L0:additional time to prepare a response.

L1:(3) The Contractor's or subcontractor's written response shall be considered a L0:claim within the meaning of the 41 U.S.C. 7101, Contract Disputes, and shall be L0:certified in the form prescribed at 33.207 of the Federal Acquisition Regulation, L0:regardless of dollar amount.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227

L1:(4) A Contractor or subcontractor receiving challenges to the same asserted L0:restrictions from more than one Contracting Officer shall notify each Contracting L0:Officer of the existence of more than one challenge. The notice shall also state which L0:Contracting Officer initiated the first in time unanswered challenge. The Contracting L0:Officer initiating the first in time unanswered challenge after consultation with the L0:Contractor or subcontractor and the other Contracting Officers, will formulate and L0:distribute a schedule for responding to each of the challenge notices to all interested L0:parties. The schedule will afford the Contractor or subcontractor a reasonable L0:opportunity to respond to each challenge notice. All parties will be bound by this L0:schedule.

L1:(5) The Contracting Officer may request additional supporting documentation L0:if, in the Contracting Officer's opinion, the Contractor's explanation does not provide L0:sufficient evidence to justify the validity of the asserted restrictions. The Contractor L0:agrees to promptly respond to the Contracting Officer's request for additional

L0:supporting documentation.

L1:(6) Notwithstanding challenge by the Contracting Officer, the parties may

L0:agree on the disposition of an asserted restriction at any time prior to a Contracting

L0:Officer's final decision or, if the Contractor has appealed that decision, filed suit, or

L0:provided notice of an intent to file suit, at any time prior to a decision by a court of

L0:competent jurisdiction or Board of Contract Appeals.

L1:(g) Final decision when Contractor or subcontractor fails to respond. Upon a failure

L0:of a Contractor or subcontractor to submit any response to the challenge notice or a

L0:request for additional information (under paragraphs (f)(1) and (f)(5) of this clause), the

L0:Contracting Officer will issue a final decision to the Contractor or subcontractor in

L0:accordance with the Disputes clause of this contract. In order to sustain the challenge

L0:for commercial products or commercial services, the Contracting Officer will provide

L0:information demonstrating that the commercial product or commercial service was not

L0:developed exclusively at private expense. This final decision will be issued as soon as

L0:possible after the expiration of the time period of paragraph (f)(1)(ii) or (f)(2) of this

L0:clause. Following issuance of the final decision, the Contracting Officer will comply

L0:with the procedures in paragraphs (h)(2)(ii) through (iv) of this clause.

L1:(h) Final decision when Contractor or subcontractor responds. (1) If the

L0:Contracting Officer determines that the Contractor or subcontractor has justified the

L0:validity of the asserted restriction, the Contracting Officer will issue a final decision to

L0:the Contractor or subcontractor that sustains the validity of the asserted restriction and

L0:that states that the Government will continue to be bound by the asserted restriction.

L0:The Contracting Officer will issue this final decision within 60 days after receipt of the

L0:Contractor's or subcontractor's response to the challenge notice, or within such longer

L0:period that the Contracting Officer has notified the Contractor or subcontractor that the

L0:Government will require. The Contracting Officer will provide notification of any longer

L0:period for issuance of a final decision within 60 days after receipt of the response to the

L0:challenge notice.

L2:(2)(i) If the Contracting Officer determines that the validity of the asserted

L0:restriction is not justified, the Contracting Officer will issue a final decision to the

L0:Contractor or subcontractor in accordance with the Disputes clause of this contract. To

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:sustain the challenge for technical data related to commercial products or commercial

L0:services, the Contracting Officer will provide information demonstrating that the

L0:commercial product or commercial service was not developed exclusively at private

L0:expense. Notwithstanding paragraph (e) of the Disputes clause, the final decision will

L0:be issued within 60 days after receipt of the Contractor's or subcontractor's response to

L0:the challenge notice, or within such longer period that the Contracting Officer has

L0:notified the Contractor or subcontractor that the Government will require. The

L0:notification of a longer period for issuance of a final decision will be made within 60

L0:days after receipt of the response to the challenge notice.

L1:(ii) The Government agrees that it will continue to be bound by the asserted

L0:restriction for a period of 90 days from the issuance of the Contracting Officer's final

L0:decision under paragraph (h)(2)(i) of this clause. The Contractor or subcontractor

L0:agrees that, if it intends to file suit in the United States Court of Federal Claims, it will
 L0:provide a notice of intent to file suit to the Contracting Officer within 90 days from the
 L0:issuance of the Contracting Officer's final decision under paragraph (h)(2)(i) of this
 L0:clause. If the Contractor or subcontractor fails to appeal to an agency Board of Contract
 L0:Appeals, file suit in an appropriate court, or provide a notice of intent to file suit in an
 L0:appropriate court to the Contracting Officer within the 90-day period, the Government
 L0:may cancel or ignore the restrictive markings that are based on the asserted
 L0:restrictions, and the failure of the Contractor or subcontractor to take the required
 L0:action constitutes agreement with such Government action.

L1:(iii) The Government agrees that it will continue to be bound by the
 L0:asserted restriction where a notice of intent to file suit in the United States Court of
 L0:Federal Claims is provided to the Contracting Officer within 90 days from the issuance
 L0:of the final decision under paragraph (h)(2)(i) of this clause. The Government will no
 L0:longer be bound, and the Contractor or subcontractor agrees that the Government may
 L0:strike or ignore the restrictive marking that is based on the asserted restriction, if the
 L0:Contractor or subcontractor fails to file its suit within 1 year after issuance of the final
 L0:decision. Notwithstanding the foregoing, where the head of an agency determines, on a
 L0:nondelegable basis, that urgent or compelling circumstances will not permit waiting for
 L0:the filing of a suit in the United States Court of Federal Claims, the Contractor or
 L0:subcontractor agrees that the agency may, following notice to the Contractor or
 L0:subcontractor, authorize release or disclosure of the technical data or computer
 L0:software. The Government agrees not to release or disclose such technical data or
 L0:computer software unless, prior to release or disclosure, the intended recipient is subject
 L0:to the use and nondisclosure agreement at Defense Federal Acquisition Regulation
 L0:Supplement (DFARS) 227.7103-7, or is a Government contractor receiving access to the
 L0:technical data or computer software for performance of a Government contract that
 L0:contains the clause at DFARS 252.227-7994, Limitations on the Use or Disclosure of
 L0:Government-Furnished Information Marked with Restrictive Legends. Such agency
 L0:determination may be made at any time after issuance of the final decision and will not
 L0:affect the Contractor's or subcontractor's right to damages against the United States
 L0:where its asserted restrictions are ultimately upheld or to pursue other relief, if any, as
 L0:may be provided by law.

L1:(iv) The Government agrees that it will be bound by the asserted
 L0:restrictions where an appeal or suit is filed pursuant to the Contract Disputes statute
 L0:until final disposition by an agency Board of Contract Appeals or the United States
 L0:Court of Federal Claims. Notwithstanding the foregoing, where the head of an agency
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
 L0:Defense FAR Supplement (DFARS) Part 227
 L0:determines, on a nondelegable basis, following notice to the Contractor that urgent or
 L0:compelling circumstances will not permit awaiting the decision by such Board of
 L0:Contract Appeals or the United States Court of Federal Claims, the Contractor or
 L0:subcontractor agrees that the agency may authorize release or disclosure of the
 L0:technical data or computer software. The Government agrees not to release or disclose
 L0:such technical data or computer software unless, prior to release or disclosure, the
 L0:intended recipient is subject to the use and nondisclosure agreement at Defense Federal

L0:Acquisition Regulation Supplement (DFARS) 227.7103-7, or is a Government contractor
L0:receiving access to the technical data or computer software for performance of a
L0:Government contract that contains the clause at DFARS 252.227-7994, Limitations on
L0:the Use or Disclosure of Government-Furnished Information Marked with Restrictive
L0:Legends. Such agency determination may be made at any time after issuance of the
L0:final decision and will not affect the Contractor?s or subcontractor?s right to damages
L0:against the United States where its asserted restrictions are ultimately upheld or to
L0:pursue other relief, if any, as may be provided by law.

L1:(i) Final disposition of appeal or suit. (1) If the Contractor or subcontractor appeals
L0:or files suit and if, upon final disposition of the appeal or suit, the Contracting Officer?s
L0:decision is sustained?

L1:(i) The restrictive marking that is based on the asserted restriction on the
L0:technical data or computer software shall be cancelled, corrected or ignored; and
L1:(ii) If the asserted restriction is found not to be substantially justified, the
L0:Contractor or subcontractor, as appropriate, shall be liable to the Government for
L0:payment of the cost to the Government of reviewing the asserted restriction and the fees
L0:and other expenses (as defined in 28 U.S.C. 2412(d)(2)(A)) incurred by the Government
L0:in challenging the asserted restriction, unless special circumstances would make such
L0:payment unjust.

L1:(2) If the Contractor or subcontractor appeals or files suit and if, upon final
L0:disposition of the appeal or suit, the Contracting Officer?s decision is not sustained?

L1:(i) The Government will continue to be bound by the restrictive marking;
L0:and

L1:(ii) The Government will be liable to the Contractor or subcontractor for
L0:payment of fees and other expenses (as defined in 28 U.S.C. 2412(d)(2)(A)) incurred by
L0:the Contractor or subcontractor in defending the marking, if the challenge by the
L0:Government is found not to have been made in good faith.

L1:(j) Duration of right to challenge. (1) The Government may review the validity of
L0:any restriction on technical data or computer software, delivered or that the Contractor
L0:must deliver under a contract, asserted by the Contractor or subcontractor. During the
L0:period within 6 years of final payment on a contract or within 6 years of delivery of the
L0:technical data or computer software to the Government, whichever is later, the
L0:Contracting Officer may review and make a written determination to challenge the
L0:restriction. The Government may, however, challenge a restriction on the release,
L0:disclosure, or use of technical data or computer software at any time if such technical
L0:data or computer software?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227

L1:(i) Are publicly available;

L1:(ii) Have been furnished to the United States without restriction;

L1:(iii) Have been otherwise made available without restriction; or

L1:(iv) Are the subject of a fraudulently asserted use or release restriction.

L1:(2) Only the Contracting Officer?s final decision resolving a formal challenge by
L0:sustaining the validity of a restrictive marking or actions of an agency Board of
L0:Contract Appeals or a court of competent jurisdiction that sustain the validity of an

L0:asserted restriction constitute ?validation? as addressed in 10 U.S.C. 3785(c).

L1:(k) Decision not to challenge. A decision by the Government, or a determination by

L0:the Contracting Officer, to not challenge the restrictive marking or asserted restriction

L0:shall not constitute ?validation.?

L1:(l) Privity of contract. The Contractor or subcontractor agrees that the Contracting

L0:Officer may transact matters under this clause directly with subcontractors at any tier

L0:that assert restrictions. However, this clause neither creates nor implies privity of

L0:contract between the Government and subcontractor.

L1:(m) Flowdown. The Contractor or subcontractor agrees to insert this clause in

L0:contractual instruments, including subcontracts and other contractual instruments for

L0:commercial products or commercial services, with its subcontractors or suppliers at any

L0:tier requiring the delivery of technical data or computer software. The clause may not

L0:be altered other than to identify the appropriate parties.

L0:(End of clause)

252.227-7038 Patent Rights?Ownership by the Contractor (Large Business)

Status: active

L0:252.227-7038 Patent Rights?Ownership by the Contractor (Large Business).

L0:As prescribed in 227.303(2), use the following clause:

L0:PATENT RIGHTS?OWNERSHIP BY THE CONTRACTOR (LARGE BUSINESS)

L0:(JUN 2012)

L1:(a) Definitions. As used in this clause?

L0:?Invention? means?

L1:(1) Any invention or discovery that is or may be patentable or otherwise

L0:protectable under Title 35 of the United States Code; or

L1:(2) Any variety of plant that is or may be protectable under the Plant Variety

L0:Protection Act (7 U.S.C. 2321, et seq.).

L0:?Made??

L1:(1) When used in relation to any invention other than a plant variety, means

L0:the conception or first actual reduction to practice of the invention; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(2) When used in relation to a plant variety, means that the Contractor has at

L0:least tentatively determined that the variety has been reproduced with recognized

L0:characteristics.

L0:?Nonprofit organization? means?

L1:(1) A university or other institution of higher education;

L1:(2) An organization of the type described in the Internal Revenue Code at 26

L0:U.S.C. 501(c)(3) and exempt from taxation under 26 U.S.C. 501(a); or

L1:(3) Any nonprofit scientific or educational organization qualified under a State

L0:nonprofit organization statute.

L0:?Practical application? means?

L2:(1)(i) To manufacture, in the case of a composition or product;

L1:(ii) To practice, in the case of a process or method; or
L1:(iii) To operate, in the case of a machine or system; and
L1:(2) In each case, under such conditions as to establish that?
L1:(i) The invention is being utilized; and
L1:(ii) The benefits of the invention are, to the extent permitted by law or
L0:Government regulations, available to the public on reasonable terms.
L0:Subject invention? means any invention of the Contractor made in the performance of
L0:work under this contract.
L1:(b) Contractor?s rights?(1) Ownership. The Contractor may elect to retain
L0:ownership of each subject invention throughout the world in accordance with the
L0:provisions of this clause.
L1:(2) License. (i) The Contractor shall retain a nonexclusive royalty-free license
L0:throughout the world in each subject invention to which the Government obtains title,
L0:unless the Contractor fails to disclose the invention within the times specified in
L0:paragraph (c) of this clause. The Contractor?s license-
L0:corporate structure of which the Contractor is a part;
L1:(A) Extends to any domestic subsidiaries and affiliates within the
L0:was legally obligated to do so at the time of contract award; and
L1:(B) Includes the right to grant sublicenses to the extent the Contractor
L1:(C) Is transferable only with the approval of the agency, except when
L0:transferred to the successor of that part of the Contractor?s business to which the
L0:invention pertains.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227
L1:(ii) The agency?
L1:(A) May revoke or modify the Contractor?s domestic license to the
L0:extent necessary to achieve expeditious practical application of the subject invention
L0:pursuant to an application for an exclusive license submitted in accordance with 37
L0:CFR Part 404 and agency licensing regulations;
L1:(B) Will not revoke the license in that field of use or the geographical
L0:areas in which the Contractor has achieved practical application and continues to make
L0:the benefits of the invention reasonably accessible to the public; and
L1:(C) May revoke or modify the license in any foreign country to the
L0:extent the Contractor, its licensees, or the domestic subsidiaries or affiliates have failed
L0:to achieve practical application in that foreign country.
L1:(iii) Before revoking or modifying the license, the agency?
L0:revoke or modify the license; and
L1:(A) Will furnish the Contractor a written notice of its intention to
L1:(B) Will allow the Contractor 30 days (or such other time as the funding
L0:agency may authorize for good cause shown by the Contractor) after the notice to show
L0:cause why the license should not be revoked or modified.
L1:(iv) The Contractor has the right to appeal, in accordance with 37 CFR part
L0:404 and agency regulations, concerning the licensing of Government-owned inventions,
L0:any decision concerning the revocation or modification of the license.
L1:(c) Contractor?s obligations. (1) The Contractor shall?

L1:(i) Disclose, in writing, each subject invention to the Contracting Officer
L0:within 2 months after the inventor discloses it in writing to Contractor personnel
L0:responsible for patent matters, or within 6 months after the Contractor first becomes
L0:aware that a subject invention has been made, whichever is earlier;
L1:(ii) Include in the disclosure?
L1:(A) The inventor(s) and the contract under which the invention was
L0:made;
L0:invention; and
L1:(B) Sufficient technical detail to convey a clear understanding of the
L1:(C) Any publication, on sale (i.e., sale or offer for sale), or public use of
L0:the invention and whether a manuscript describing the invention has been submitted
L0:for publication and, if so, whether it has been accepted for publication; and
L1:(iii) After submission of the disclosure, promptly notify the Contracting
L0:Officer of the acceptance of any manuscript describing the invention for publication and
L0:of any on sale or public use.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227
L1:(2) The Contractor shall elect in writing whether or not to retain ownership of
L0:any subject invention by notifying the Contracting Officer at the time of disclosure or
L0:within 8 months of disclosure, as to those countries (including the United States) in
L0:which the Contractor will retain ownership. However, in any case where publication,
L0:on sale, or public use has initiated the 1-year statutory period during which valid patent
L0:protection can be obtained in the United States, the agency may shorten the period of
L0:election of title to a date that is no more than 60 days prior to the end of the statutory
L0:period.
L1:(3) The Contractor shall?
L1:(i) File either a provisional or a nonprovisional patent application on an
L0:elected subject invention within 1 year after election, provided that in all cases the
L0:application is filed prior to the end of any statutory period wherein valid patent
L0:protection can be obtained in the United States after a publication, on sale, or public
L0:use;
L1:(ii) File a nonprovisional application within 10 months of the filing of any
L0:provisional application; and
L1:(iii) File patent applications in additional countries or international patent
L0:offices within either 10 months of the first filed patent application (whether provisional
L0:or nonprovisional) or 6 months from the date the Commissioner of Patents grants
L0:permission to file foreign patent applications where such filing has been prohibited by a
L0:Secrecy Order.
L1:(4) The Contractor may request extensions of time for disclosure, election, or
L0:filing under paragraphs (c)(1), (2), and (3) of this clause. The Contracting Officer will
L0:normally grant the extension unless there is reason to believe the extension would
L0:prejudice the Government's interests.
L1:(d) Government's rights?(1) Ownership. The Contractor shall assign to the agency,
L0:upon written request, title to any subject invention?
L1:(i) If the Contractor elects not to retain title to a subject invention;

L1:(ii) If the Contractor fails to disclose or elect the subject invention within the
L0:times specified in paragraph (c) of this clause and the agency requests title within 60
L0:days after learning of the Contractor?s failure to report or elect within the specified
L0:times;

L1:(iii) In those countries in which the Contractor fails to file patent
L0:applications within the times specified in paragraph (c) of this clause, provided that, if
L0:the Contractor has filed a patent application in a country after the times specified in
L0:paragraph (c) of this clause, but prior to its receipt of the written request of the agency,
L0:the Contractor shall continue to retain ownership in that country; and

L1:(iv) In any country in which the Contractor decides not to continue the
L0:prosecution of any application for, to pay the maintenance fees on, or defend in
L0:reexamination or opposition proceeding on, a patent on a subject invention.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227

L1:(2) License. If the Contractor retains ownership of any subject invention, the
L0:Government shall have a nonexclusive, nontransferable, irrevocable, paid-up license to
L0:practice, or have practiced for or on behalf of the United States, the subject invention
L0:throughout the world.

L1:(e) Contractor action to protect the Government?s interest. (1) The Contractor shall
L0:execute or have executed and promptly deliver to the agency all instruments necessary
L0:to?

L1:(i) Establish or confirm the rights the Government has throughout the
L0:world in those subject inventions in which the Contractor elects to retain ownership;
L0:and

L1:(ii) Assign title to the agency when requested under paragraph (d)(1) of this
L0:clause and enable the Government to obtain patent protection for that subject invention
L0:in any country.

L1:(2) The Contractor shall?

L1:(i) Require, by written agreement, its employees, other than clerical and
L0:nontechnical employees, to?

L1:(A) Disclose each subject invention promptly in writing to personnel
L0:identified as responsible for the administration of patent matters, so that the
L0:Contractor can comply with the disclosure provisions in paragraph (c) of this clause; and

L1:(B) Provide the disclosure in the Contractor?s format, which should
L0:require, as a minimum, the information required by paragraph (c)(1) of this clause;

L1:(ii) Instruct its employees, through employee agreements or other suitable
L0:educational programs, as to the importance of reporting inventions in sufficient time to
L0:permit the filing of patent applications prior to U.S. or statutory foreign bars; and

L1:(iii) Execute all papers necessary to file patent applications on subject
L0:inventions and to establish the Government?s rights in the subject inventions.

L1:(3) The Contractor shall notify the Contracting Officer of any decisions not to
L0:file a nonprovisional patent application, continue the prosecution of a patent
L0:application, pay maintenance fees, or defend in a reexamination or opposition
L0:proceeding on a patent, in any country, not less than 30 days before the expiration of
L0:the response or filing period required by the relevant patent office.

L1:(4) The Contractor shall include, within the specification of any United States

L0:nonprovisional patent application and any patent issuing thereon covering a subject

L0:invention, the following statement: "This invention was made with Government support

L0:under (identify the contract) awarded by (identify the agency). The Government has

L0:certain rights in this invention."

L1:(5) The Contractor shall?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(i) Establish and maintain active and effective procedures to ensure that

L0:subject inventions are promptly identified and disclosed to Contractor personnel

L0:responsible for patent matters;

L1:(ii) Include in these procedures the maintenance of?

L1:(A) Laboratory notebooks or equivalent records and other records as are

L0:reasonably necessary to document the conception and/or the first actual reduction to

L0:practice of subject inventions; and

L0:the inventions are followed; and

L1:(B) Records that show that the procedures for identifying and disclosing

L1:(iii) Upon request, furnish the Contracting Officer a description of these

L0:procedures for evaluation and for determination as to their effectiveness.

L1:(6) The Contractor shall, when licensing a subject invention, arrange to?

L1:(i) Avoid royalty charges on acquisitions involving Government funds,

L0:including funds derived through the Government's Military Assistance Program or

L0:otherwise derived through the Government;

L1:(ii) Refund any amounts received as royalty charges on the subject

L0:inventions in acquisitions for, or on behalf of, the Government; and

L1:(iii) Provide for the refund in any instrument transferring rights in the

L0:invention to any party.

L1:(7) The Contractor shall furnish to the Contracting Officer the following:

L1:(i) Interim reports every 12 months (or any longer period as may be

L0:specified by the Contracting Officer) from the date of the contract, listing subject

L0:inventions during that period and stating that all subject inventions have been

L0:disclosed or that there are no subject inventions.

L1:(ii) A final report, within 3 months after completion of the contracted work,

L0:listing all subject inventions or stating that there were no subject inventions, and listing

L0:all subcontracts at any tier containing a patent rights clause or stating that there were

L0:no subcontracts.

L2:(8)(i) The Contractor shall promptly notify the Contracting Officer in writing

L0:upon the award of any subcontract at any tier containing a patent rights clause by

L0:identifying?

L1:(A) The subcontractor;

L1:(B) The applicable patent rights clause;

L1:(C) The work to be performed under the subcontract; and

L1:(D) The dates of award and estimated completion.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(ii) The Contractor shall furnish, upon request, a copy of the subcontract,
L0:and no more frequently than annually, a listing of the subcontracts that have been
L0:awarded.

L1:(9) In the event of a refusal by a prospective subcontractor to accept one of the
L0:clauses specified in paragraph (l)(1) of this clause, the Contractor?

L1:(i) Shall promptly submit a written notice to the Contracting Officer setting
L0:forth the subcontractor's reasons for the refusal and other pertinent information that
L0:may expedite disposition of the matter; and

L1:(ii) Shall not proceed with that subcontract without the written
L0:authorization of the Contracting Officer.

L1:(10) The Contractor shall provide to the Contracting Officer, upon request, the
L0:following information for any subject invention for which the Contractor has retained
L0:ownership:

L1:(i) Filing date.

L1:(ii) Serial number and title.

L1:(iii) A copy of any patent application (including an English-language version
L0:if filed in a language other than English).

L1:(iv) Patent number and issue date.

L1:(11) The Contractor shall furnish to the Government, upon request, an
L0:irrevocable power to inspect and make copies of any patent application file.

L1:(f) Reporting on utilization of subject inventions. (1) The Contractor shall?

L1:(i) Submit upon request periodic reports no more frequently than annually
L0:on the utilization of a subject invention or on efforts in obtaining utilization of the
L0:subject invention that are being made by the Contractor or its licensees or assignees;

L1:(ii) Include in the reports information regarding the status of development,
L0:date of first commercial sale or use, gross royalties received by the Contractor, and
L0:other information as the agency may reasonably specify; and

L1:(iii) Provide additional reports that the agency may request in connection
L0:with any march-in proceedings undertaken by the agency in accordance with paragraph
L1:(h) of this clause.

L1:(2) To the extent permitted by law, the agency shall not disclose the information
L0:provided under paragraph (f)(1) of this clause to persons outside the Government
L0:without the Contractor's permission, if the data or information is considered by the
L0:Contractor or its licensee or assignee to be "privileged and confidential" (see 5 U.S.C.
L0:552(b)(4)) and is so marked.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227

L1:(g) Preference for United States industry. Notwithstanding any other provision of
L0:this clause, the Contractor agrees that neither the Contractor nor any assignee shall
L0:grant to any person the exclusive right to use or sell any subject invention in the United
L0:States unless the person agrees that any products embodying the subject invention or
L0:produced through the use of the subject invention will be manufactured substantially in
L0:the United States. However, in individual cases, the agency may waive the
L0:requirement for an exclusive license agreement upon a showing by the Contractor or its
L0:assignee that?

L1:(1) Reasonable but unsuccessful efforts have been made to grant licenses on

L0:similar terms to potential licensees that would be likely to manufacture substantially in

L0:the United States; or

L1:(2) Under the circumstances, domestic manufacture is not commercially

L0:feasible.

L1:(h) March-in rights. The Contractor acknowledges that, with respect to any subject

L0:invention in which it has retained ownership, the agency has the right to require

L0:licensing pursuant to 35 U.S.C. 203 and 210(c), 37 CFR 401.6, and any supplemental

L0:regulations of the agency in effect on the date of contract award.

L1:(i) Other inventions. Nothing contained in this clause shall be deemed to grant to

L0:the Government any rights with respect to any invention other than a subject

L0:invention.

L1:(j) Examination of records relating to inventions. (1) The Contracting Officer or any

L0:authorized representative shall, until 3 years after final payment under this contract,

L0:have the right to examine any books (including laboratory notebooks), records, and

L0:documents of the Contractor relating to the conception or first reduction to practice of

L0:inventions in the same field of technology as the work under this contract to determine

L0:whether?

L1:(i) Any inventions are subject inventions;

L1:(ii) The Contractor has established procedures required by paragraph (e)(5)

L0:of this clause; and

L1:(iii) The Contractor and its inventors have complied with the procedures.

L1:(2) If the Contracting Officer learns of an unreported Contractor invention that

L0:the Contracting Officer believes may be a subject invention, the Contractor shall be

L0:required to disclose the invention to the agency for a determination of ownership rights.

L1:(3) Any examination of records under this paragraph (j) shall be subject to

L0:appropriate conditions to protect the confidentiality of the information involved.

L1:(k) Withholding of payment (this paragraph does not apply to subcontracts). (1) Any

L0:time before final payment under this contract, the Contracting Officer may, in the

L0:Government's interest, withhold payment until a reserve not exceeding \$50,000 or 5

L0:percent of the amount of the contract, whichever is less, is set aside if, in the

L0:Contracting Officer's opinion, the Contractor fails to?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(i) Establish, maintain, and follow effective procedures for identifying and

L0:disclosing subject inventions pursuant to paragraph (e)(5) of this clause;

L1:(ii) Disclose any subject invention pursuant to paragraph (c)(1) of this

L0:clause;

L1:(iii) Deliver acceptable interim reports pursuant to paragraph (e)(7)(i) of

L0:this clause; or

L1:(iv) Provide the information regarding subcontracts pursuant to paragraph

L2:(e)(8) of this clause.

L1:(2) The reserve or balance shall be withheld until the Contracting Officer has

L0:determined that the Contractor has rectified whatever deficiencies exist and has

L0:delivered all reports, disclosures, and other information required by this clause.

L1:(3) The Government will not make final payment under this contract before the

L0:Contractor delivers to the Contracting Officer?

L1:(i) All disclosures of subject inventions required by paragraph (c)(1) of this

L0:clause;

L0:and

L1:(ii) An acceptable final report pursuant to paragraph (e)(7)(ii) of this clause;

L1:(iii) All past due confirmatory instruments.

L1:(4) The Contracting Officer may decrease or increase the sums withheld up to

L0:the maximum authorized in paragraph (k)(1) of this clause. No amount shall be

L0:withheld under this paragraph while the amount specified by this paragraph is being

L0:withheld under other provisions of the contract. The withholding of any amount or the

L0:subsequent payment thereof shall not be construed as a waiver of any Government

L0:right.

L1:(l) Subcontracts. (1) The Contractor?

L1:(i) Shall include the substance of the Patent Rights-Ownership by the

L0:Contractor clause set forth at 52.227-11 of the Federal Acquisition Regulation (FAR), in

L0:all subcontracts for experimental, developmental, or research work to be performed by a

L0:small business concern or nonprofit organization; and

L1:(ii) Shall include the substance of this clause, including this paragraph (l),

L0:in all other subcontracts for experimental, developmental, or research work, unless a

L0:different patent rights clause is required by FAR 27.303.

L1:(2) For subcontracts at any tier?

L1:(i) The patents rights clause included in the subcontract shall retain all

L0:references to the Government and shall provide to the subcontractor all the rights and

L0:obligations provided to the Contractor in the clause. The Contractor shall not, as

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:consideration for awarding the subcontract, obtain rights in the subcontractor's subject

L0:inventions; and

L1:(ii) The Government, the Contractor, and the subcontractor agree that the

L0:mutual obligations of the parties created by this clause constitute a contract between

L0:the subcontractor and the Government with respect to those matters covered by this

L0:clause. However, nothing in this paragraph is intended to confer any jurisdiction under

L0:the Contract Disputes statute in connection with proceedings under paragraph (h) of

L0:this clause.

L0:(End of clause)

L0:Alternate I (DEC 2007). As prescribed in 227.303(2)(ii), add the following paragraph

L3:(b)(2)(v) to the basic clause:

L1:(v) The license shall include the right of the Government to sublicense foreign

L0:governments, their nationals, and international organizations pursuant to the following

L0:treaties or international agreements: _____*.

L0:[* Contracting Officer to complete with the names of applicable existing treaties or

L0:international agreements. This paragraph is not intended to apply to treaties or

L0:agreements that are in effect on the date of the award but are not listed.]

L0:Alternate II (DEC 2007). As prescribed in 227.303(2)(iii), add the following paragraph

L3:(b)(2)(v) to the basic clause:

L1:(v) The agency reserves the right to?

L1:(A) Unilaterally amend this contract to identify specific treaties or

L0:international agreements entered into or to be entered into by the Government after the

L1:(B) Exercise those license or other rights that are necessary for the

L0:Government to meet its obligations to foreign governments, their nationals, and

L0:international organizations under any treaties or international agreement with respect

L0:to subject inventions made after the date of the amendment.

252.227-7039 Patents?reporting of subject inventions

Status: active

L0:252.227-7039 Patents?reporting of subject inventions.

L0:As prescribed in 227.303(1), use the following clause:

L0:PATENTS?REPORTING OF SUBJECT INVENTIONS (APR 1990)

L0:The Contractor shall furnish the Contracting Officer the following:

L1:(a) Interim reports every twelve (12) months (or such longer period as may be

L0:specified by the Contracting Officer) from the date of the contract, listing subject

L0:inventions during that period and stating that all subject inventions have been

L0:disclosed or that there are no such inventions.

L1:(b) A final report, within three (3) months after completion of the contracted work,

L0:listing all subject inventions or stating that there were no such inventions.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(c) Upon request, the filing date, serial number and title, a copy of the patent

L0:application and patent number, and issue data for any subject invention for which the

L0:Contractor has retained title.

L1:(d) Upon request, the Contractor shall furnish the Government an irrevocable

L0:power to inspect and make copies of the patent application file.

L0:(End of clause)

252.227-7998 Additional preaward requirements for Small Business

Status: active

L0:252.227-7998 Additional preaward requirements for Small Business

L0:Technology Transfer Program. (DEVIATION 2026-O0036)

L0:As prescribed in 227.7104-4(c)(1), use the following provision:

L0:ADDITIONAL PREAWARD REQUIREMENTS FOR SMALL BUSINESS

L0:TECHNOLOGY TRANSFER PROGRAM (DEVIATION 2026-O0036) (FEB 2026)

L1:(a) Definitions. As used in this provision, the terms ?research institution? and

L0:United States? have the meaning given in the 252.227-7999, Additional Postaward

L0:Requirements for Small Business Technology Transfer Program, clause of this

L0:solicitation.

L1:(b) Offers submitted in response to this solicitation shall include the following:

L1:(1) The written agreement between the Offeror and a research institution,
L0:which shall contain?

L1:(i) A specific allocation of ownership, rights, and responsibilities for
L0:intellectual property (including inventions, patents, technical data, and computer
L0:software) resulting from the Small Business Technology Transfer (STTR) Program
L0:award;

L1:(ii) Identification of which party to the written agreement may obtain
L0:United States or foreign patents or otherwise protect any inventions that result from a
L0:STTR award; and

L1:(iii) No terms or conditions that conflict with the requirements of the clause
L0:at 252.227-7993, Rights in Other Than Commercial Technical Data and Computer
L0:Software-Small Business Innovation Research Program and Small Business Technology
L0:Transfer Program, or this provision, including the rights of the United States, the
L0:Offeror, and the research institution regarding intellectual property, and regarding any
L0:right to carry out follow-on research.

L1:(2) The Offeror's written representation that?

L1:(i) The Offeror is satisfied with its written agreement with the research
L0:institution; and

L1:(ii) The written agreement does not conflict with the requirements of this
L0:solicitation.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(c) The Offeror shall submit the written representation required by paragraph (b)(2)
L0:of this provision as an attachment to its offer, dated and signed by an official authorized
L0:to contractually obligate the Offeror.

L1:(d) The Offeror's failure to submit the written agreement or written representation
L0:required by paragraph (b) of this provision with its offer may render the offer ineligible
L0:for award.

L1:(e) If the Offeror is awarded a contract, the Contracting Officer will include the
L0:written agreement and written representation required by paragraph (b) of this
L0:provision in an attachment to that contract.

L0:(End of provision)

252.227-7999 Additional postaward requirements for Small Business

Status: active

L0:252.227-7999 Additional postaward requirements for Small Business

L0:Technology Transfer Program. (DEVIATION 2026-O0036)

L0:As prescribed in 227.7104-4(c)(2), use the following clause:

L0:ADDITIONAL POSTAWARD REQUIREMENTS FOR SMALL BUSINESS

L0:TECHNOLOGY TRANSFER PROGRAM (DEVIATION 2026-O0036) (FEB 2026)

L1:(a) Definitions. As used in this clause?

L0:Research institution? means an institution or entity that?

L1:(1) Has a place of business located in the United States;

L1:(2) Operates primarily within the United States or makes a significant
L0:contribution to the U.S. economy through payment of taxes or use of American
L0:products, materials, or labor; and

L1:(3) Is either?

L1:(i) A nonprofit institution that is owned and operated exclusively for
L0:scientific or educational purposes, no part of the net earnings of which inures to the
L0:benefit of any private shareholder or individual (section 4(3) of the Stevenson-Wydler
L0:Technology Innovation Act of 1980); or

L1:(ii) A federally-funded research or research and development center as
L0:identified by the National Science Foundation
L0:(<https://www.nsf.gov/statistics/ffrdclist/>) in accordance with the guidance at Federal
L0:Acquisition Regulation 35.017.

L0:United States? means the 50 States and the District of Columbia, the territories and
L0:possessions of the Government, the Commonwealth of Puerto Rico, the Republic of the
L0:Marshall Islands, the Federated States of Micronesia, and the Republic of Palau.

L1:(b) Preaward submissions. Attached to this contract are the following documents,
L0:submitted by the Contractor pursuant to Defense Federal Acquisition Regulation
L0:Supplement (DFARS) 252.227-7998, Additional Preaward Requirements for Small
L0:Business Technology Transfer Program:
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
L0:Defense FAR Supplement (DFARS) Part 227

L1:(1) The written agreement between the Contractor and a research institution.

L1:(2) The Contractor's written representation that the Contractor is satisfied with
L0:that written agreement, which does not conflict with the clause at DFARS 252.227-
L0:7993, Rights in Other Than Commercial Technical Data and Computer Software-Small
L0:Business Innovation Research Program and Small Business Technology Transfer
L0:Program, or this clause.

L1:(c) Postaward updates. The Contractor shall not allow any modification to its
L0:written agreement with the research institution, unless the written agreement, as
L0:modified, contains?

L1:(1) A specific allocation of ownership, rights, and responsibilities for intellectual
L0:property (including inventions, patents, technical data, and computer software)
L0:resulting from performance of this contract;

L1:(2) Identification of which party to the written agreement may obtain United
L0:States or foreign patents or otherwise protect any inventions that result from a Small
L0:Business Technology Transfer Program award;

L1:(3) The Contractor's written, dated, and signed representation that?

L1:(i) The Contractor is satisfied with its written agreement with the research
L0:institution, as modified; and

L1:(ii) The written agreement, as modified, does not conflict with the clause at
L0:DFARS 252.227-7993, Rights in Other Than Commercial Technical Data and Computer
L0:Software-Small Business Innovation Research Program and Small Business Technology
L0:Transfer Program, or this clause; and

L1:(4) No terms and conditions that conflict with the clause at DFARS 252.227-

L0:7993, Rights in Other Than Commercial Technical Data and Computer Software-Small
L0:Business Innovation Research Program and Small Business Technology Transfer
L0:Program, or this clause, including the rights of the United States, the Contractor, and
L0:the research institution regarding intellectual property, and regarding any right to
L0:carry out follow-on research.

L1:(d) Submission of updated agreement. Within 30 days of execution of the modified
L0:written agreement described in paragraph (b)(1) of this clause, the Contractor shall
L0:submit a copy of that updated written agreement and the updated written
L0:representation described in paragraph (b)(2) of this clause to the Contracting Officer for
L0:review and attachment to this contract.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:PGI PART 227?PATENTS, DATA, AND COPYRIGHTS

L0:PGI 227.6?FOREIGN LICENSE AND TECHNICAL ASSISTANCE AGREEMENTS

L0:PGI 227.673 Foreign license and technical assistance agreements between the
L0:Government and domestic concerns.

L1:(a) Contracts between the Government and a primary source to provide technical
L0:assistance or patent rights to a second source for the manufacture of supplies or
L0:performance of services must, to the extent practicable, specify the rights in patents and
L0:data and any other rights to be supplied to the second source. Each contract should
L0:provide, in connection with any separate agreement between the primary source and the
L0:second source for patent rights or technical assistance relating to the articles or services
L0:involved in the contract, that?

L1:(1) The primary source and its subcontractors shall not make, on account of any
L0:purchases by the Government or by others with funds derived through the Foreign Military
L0:Financing Program or otherwise through the Government, any charge to the second source
L0:for royalties or amortization for patents or inventions in which the Government holds a
L0:royalty-free license; or data which the Government has the right to possess, use, and
L0:disclose to others; or any technical assistance provided to the second source for which the
L0:Government has paid under a contract between the Government and the primary source;
L0:and

L1:(2) The separate agreement between the primary and second source shall include
L0:a statement referring to the contract between the Government and the primary source, and it
L0:must conform to the requirements of the International Traffic in Arms Regulations (see PGI
L0:227.675-1).

L1:(b) Consider the following factors, among others, in negotiating the price to be paid the
L0:primary source under contracts within (a) of this section?

L1:(1) The actual cost of providing data, personnel, manufacturing aids, samples,
L0:spare parts, etc.;

L1:(2) The extent to which the Government has contributed to the development of the
L0:supplies or services, and to the methods of manufacture or performance, through past
L0:contracts for research and development or for manufacture of the supplies or performance
L0:of the services; and

L1:(3) The Government's patent rights and rights in data relating to the supplies or
L0:services and to the methods of manufacture or of performance.

L0:PGI 227.674 Supply contracts between the Government and a foreign government or
L0:concern.

L0:In negotiating contract prices with a second source, including the redetermination of contract
L0:prices, or in determining the allowability of costs under a cost-reimbursement contract with a
L0:second source?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(a) Obtain from the second source a detailed statement for patent rights, rights in data,
L0:and other technical assistance provided to the second source, including identification and
L0:description of such patents, data, and technical assistance; and

L1:(b) Do not accept or allow charges which in effect are?

L1:(1) For royalties or amortization for patents or inventions in which the Government
L0:holds a royalty-free license; or

L1:(2) For data which the Government has a right to possess, use, and disclose to
L0:others; or

L1:(3) For any technical assistance provided to the second source for which the
L0:Government has paid under a contract between the Government and a primary source.

L0:PGI 227.675 Foreign license and technical assistance agreements between a
L0:domestic concern and a foreign government or concern.

L0:PGI 227.675-1 Statutes, regulation and guidance.

L0:See applicable export control regulations, policies, and guidance in the?

L1:(a) Arms Export Control Act (AECA) (22 U.S.C. Chapter 39);

L1:(b) Export Control Reform Act of 2018 (ECRA), 50 U.S.C. 4801-4852;

L1:(c) International Traffic in Arms Regulations (ITAR), 22 CFR Parts 120-130;

L1:(d) Export Administration Regulations (EAR), 15 CFR Parts 730-774;

L1:(e) DoDI 2040.02, International Transfers of Technology, Articles, and Services;

L1:(f) DoDI 5230.24, Distribution Statements on DoD Technical Information; and

L1:(g) DoDM 5105.38-M, Security Assistance Management Manual (SAMM).

L0:PGI 227.675-2 Review of agreements.

L1:(a) In reviewing foreign license and technical assistance agreements between primary
L0:and second sources, the Department concerned must, insofar as its interests are involved,
L0:indicate whether the agreement meets the requirements of sections 124.07-124.10 of the
L0:ITAR (see PGI 227.675-1) or in what respects the agreement is deficient. Paragraphs (b)
L0:through (g) of this subsection provide general guidance.

L1:(b) When the Government will likely purchase from the second source the supplies or
L0:services involved in the agreement, or that Foreign Military Financing Program funds will be
L0:provided for the procurement of the supplies or services, the following guidance applies:

L1:(1) If the agreement specifies a reduction in charges thereunder, with respect to
L0:purchases by or for the Government or by others with funds derived through the Foreign
L0:Military Financing Program or otherwise through the Government, in recognition of the
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:Government's rights in patents and data, the Department, before indicating its approval,

L0:concerned should evaluate the amount of the reduction to determine whether the amount is
L0:fair and reasonable in the circumstances.

L1:(2) If the agreement does not specify any reduction in charges or otherwise fails to
L0:give recognition to the Government's rights in the patents or data involved, approval should
L0:be conditioned upon amendment of the agreement to reflect a reduction, evaluated by the
L0:Department concerned as acceptable to the Government, in any charge thereunder with
L0:respect to purchases made by or for the Government or by others with funds derived
L0:through the Foreign Military Financing Program or otherwise through the Government, in
L0:accordance with section 124.10 of the International Traffic in Arms Regulations.

L1:(3) If the agreement provides that no charge is to be made to the second source for
L0:data or patent rights to the extent of the Government's rights, the Department concerned
L0:should evaluate the acceptability of the provision before indicating its approval.

L1:(4) If circumstances do not permit the evaluation called for in (b) (1), (2), or (3) of
L0:this subsection, follow the guidance in (c) of this subsection.

L1:(c) When the Government will unlikely purchase from the second source the supplies or
L0:services involved in the agreement nor that Foreign Military Financing Program funds will be
L0:provided for the purchase of the supplies or services, then the following guidance applies:

L1:(1) If the agreement provides for charges to the second source for data or patent
L0:rights, fulfill the requirements of section 124.10 insofar as the Department of Defense is
L0:concerned if:

L1:(i) The agreement requires the second source to advise the primary source
L0:when the second source has knowledge of any purchase made or to be made from the
L0:second source by or for the Government or by others with funds derived through the Foreign
L0:Military Financing Program or otherwise through the Government;

L1:(ii) The primary source separately agrees with the Government that upon such
L0:advice to the primary source from the second source or from the Government or otherwise
L0:as to any such a purchase or prospective purchase, the primary source will negotiate with
L0:the Department concerned an appropriate reduction in its charges to the second source in
L0:recognition of any Government rights in patents or data; and

L1:(iii) The agreement between the primary and second sources further provides
L0:that in the event of any such purchase and resulting reduction in charges, the second source
L0:should pass on this reduction to the Government by giving the Government a corresponding
L0:reduction in the purchase price of the article or service.

L1:(2) If the agreement provides that no charge is to be made to the second source for
L0:data or patent rights to the extent to which the Government has rights, the Department
L0:concerned should?

L1:(i) Evaluate the acceptability of the provision before indicating its approval; or

L1:(ii) Explicitly condition its approval on the right to evaluate the acceptability of the
L0:provision at a later time.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(d) When there is a technical assistance agreement between the primary source and
L0:the Government related to the agreement between the primary and second sources that is
L0:under review, the latter agreement must reflect the arrangements contemplated with respect
L0:thereto by the Government's technical assistance agreement with the primary source.

L1:(e) Every agreement must provide that any license rights transferred under the L0:agreement are subject to existing rights of the Government.

L2:(f)(1) In connection with every agreement referred to in (b) of this section, a request L0:should be made to the primary source?

L1:(i) To identify the patents, data, and other technical assistance to be provided to L0:the second source by the primary source or any of its subcontractors,

L1:(ii) To identify any such patents and data in which, to the knowledge of the L0:primary source, the Government may have rights, and

L1:(iii) To segregate the charges made to the second source for each such L0:category or item of patents, data, and other technical assistance.

L1:(2) Reviewing personnel should verify this information or, where the primary source L0:does not furnish it, obtain such information from Governmental sources so far as practicable.

L1:(g) The Department concerned should make clear that its approval of any agreement L0:does not necessarily recognize the propriety of the charges or the amounts thereof, nor L0:constitute approval of any of the business arrangements in the agreement, unless the L0:Department expressly intends by its approval to commit itself to the fairness and L0:reasonableness of a particular charge or charges. In any event, a disclaimer should be L0:made to charges or business terms not affecting any purchase made by or for the L0:Government or by others with funds derived through the Foreign Military Financing Program L0:or otherwise through the Government.

**L0:PGI 227.71?TECHNICAL DATA, COMPUTER SOFTWARE, COMPUTER SOFTWARE
L0:DOCUMENTATION, AND ASSOCIATED RIGHTS RELATED TO OTHER THAN
L0:COMMERCIAL PRODUCTS, COMPONENTS, SERVICES, PROCESSES, AND
L0:COMPUTER SOFTWARE**

L0:PGI 227.7103-13 Government right to review, verify, challenge, and validate asserted L0:restrictions.

L1:(d) Challenge and validation.

L1:(4) Challenge notice.

L1:(iii) The challenge notice must include the information in paragraph (f) of the L0:clause at 252.227-YYYY.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:PGI 227.7103-18 Acquisition of other than commercial technical data, computer L0:software, and computer software documentation and associated rights.

L1:(a) Applicable Guidance. See DoDI 5010.44, Intellectual Property (IP) Acquisition and L0:Licensing, sections 4.1 and 4.2, when formulating business advice and contract L0:implementation strategies regarding the program manager?s tailoring of technical data L0:requirements to the needs of the Government.

L1:(b) Compliance with applicable policies. Work closely with data managers and L0:requirements personnel to ensure that technical data, computer software, and computer L0:software documentation requirements included in solicitations are consistent with the policy L0:expressed in 227.7103-1.

L1:(c) Acquisition of technical data. (1)(i) Data managers or other requirements personnel L0:are responsible for identifying the Government?s life-cycle needs for technical data.

L1:(ii) When establishing technical-data needs, requirements personnel must give
L0:consideration to?

L1:(A) The offeror's economic interests in technical data pertaining to items,
L0:components, or processes that have been developed at private expense (including the
L0:economic interests of small businesses and nontraditional contractors);
L0:protect the technical data;

L1:(B) The Government's costs to acquire, maintain, store, retrieve, and

L1:(C) Reprourement needs;

L1:(D) Repair, maintenance, and overhaul philosophies;

L1:(E) Spare and repair part considerations; and

L0:accomplished on a form, fit, or function basis.

L1:(F) Whether procurement of the items, components, or processes can be

L1:(iii) When the Government will likely obtain unlimited or government purpose

L0:rights in technical data necessary for competitive spare or repair parts procurements, such

L0:data should be identified as deliverable technical data items; and

L1:(iv) The fact that reprourement needs might not justify acquiring detailed

L0:manufacturing or process data when?

L0:specifications, form, fit, and function data; or

L1:(A) Items or components can be acquired using performance

L0:provide such items on a performance specification or form, fit, or function basis.

L1:(B) When a sufficient number of alternate sources exist that will likely

L1:(2) When reviewing offers received in response to a solicitation or other request for

L0:data, data managers should, as appropriate, balance the original assessment of the

L0:Government's data needs with data prices contained in the offer.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L1:(d) Acquisition of computer software and computer software documentation. (1) (i)

L0:Data managers or other requirements personnel are responsible for identifying the

L0:Government's life-cycle needs for computer software and computer software

L0:documentation.

L1:(ii) To the maximum extent practicable, assessment of life-cycle needs should

L0:include consideration of periodic delivery of computer software and computer software

L0:documentation including all executable code, source code, associated scripts, build

L0:procedures, automation scripts, tools, databases, libraries, test results, data sets, firmware,

L0:training materials, and any other elements necessary to integrate, test and evaluate, debug,

L0:deploy, and operate the software application in all relevant environments (e.g., development,

L0:staging, production).

L1:(iii) See DoDI 5010.44, Intellectual Property (IP) Acquisition and Licensing,

L0:sections 4.1 and 4.2, when formulating business advice and contract implementation

L0:strategies regarding the program manager's tailoring of software requirements to the needs

L0:of the Government.

L1:(iv) In addition to desired software performance, compatibility, or other technical

L0:considerations, identification of life-cycle needs should include consideration of such factors

L0:as?

L1:(A) The offeror's economic interests in software that has been developed at

L0:private expense (including the economic interests of small businesses and nontraditional L0:contractors);

L0:and protect the computer software and computer software documentation;

L1:(B) The Government?s costs to develop, acquire, maintain, store, retrieve,

L1:(C) Multiple site or shared use requirements;

L0:require the right to modify or have third parties modify the software; and

L1:(D) Whether the Government?s software maintenance philosophy will

L1:(E) Any special computer software documentation requirements.

L2:(2) (i) Procurement planning. The assessment of life-cycle needs should consider

L0:delivery timelines to facilitate transition to a different contractor or to the Government. This

L0:approach facilitates management of program risk and supports options for flexibility in the

L0:transition of software sustainment to another organization. Ensure that, wherever

L0:practicable, solicitations and contracts include the requirements for periodic delivery and any

L0:delivery timelines for computer software and computer software documentation, based upon

L0:the assessment of life-cycle needs. To the maximum extent practicable, when assessing

L0:the life-cycle needs, data managers or other requirements personnel will address in the

L0:procurement planning and requirements documents (e.g., acquisition plans, purchase

L0:requests) the acquisition at appropriate times in the life cycle of all computer software,

L0:related recorded information, and associated license rights necessary to?

L0:required software libraries (e.g., software libraries called, invoked, or linked by the computer

L1:(A) Reproduce, build, or recompile the software from its source code and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:software source code that are necessary for the operation of the software). (Based on the

L0:results of the assessment of life-cycle needs, and to the maximum extent practicable, all

L0:software capability descriptions should accompany source code (e.g., features, story points,

L0:use cases) and all as-built architecture and design products, traceability products, interface

L0:definitions including interfaces to proprietary software elements, and any other requisite

L0:documentation.);

L1:(B) Conduct required computer software testing and evaluation;

L0:including developmental, operational, diagnostic, training, or simulation environments; and

L1:(C) Integrate and deploy computer programs on relevant hardware

L1:(D) Sustain and support the software over its life cycle.

L1:(ii) Alternatives to delivery of source code and related software design details.

L0:The assessment of life-cycle needs should consider alternatives to the delivery of source

L0:code and related software design details for privately developed computer software as

L0:necessary to meet the Government?s needs, such as?

L0:open system approach or a similar approach.

L1:(A) Technical data and computer software sufficient to implement a modular

L1:(1) In determining whether the Government should require delivery of

L0:computer software source code and related software design details developed exclusively or

L0:partially at private expense, data managers and other requirements personnel are

L0:responsible for considering whether these alternatives permit the Government to?

L0:systems, material, and services in an economical manner based on a cost or price analysis;

L1:(i) Acquire the amount of data needed to procure and support

L1:(ii) Meet its management, engineering, and logistics needs; and
 L0:consistent with the assessment of life-cycle needs.

L1:(iii) Maintain the currency of acquired technical data or software

L1:(2) To the extent practicable, the Government should also require open
 L0:interface documentation for any privately developed computer software used in or
 L0:interoperable with software developed for the Government, to allow for technology insertion
 L0:on all sides of the interface, as applicable, and to support the use of modular open system
 L0:approaches;

L0:agreements for cloud-based or subscription-based software products or services.

L1:(B) Access to technical data or computer software, including access

L1:(1) Access agreements permit the Government to view, print,
 L0:download, annotate, modify, or make derivatives of technical data or computer software
 L0:stored within a contractor-controlled repository or facility (e.g., in an online environment or in
 L0:person). Examples of access arrangements include remote online authorization to access
 L0:an integrated data environment, product data management system operated by the
 L0:contractor, or mechanisms authorizing physical entry to a contractor-controlled data
 L0:repository, or cloud-based or subscription-based software products or services. The
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27
 L0:Defense FAR Supplement (DFARS) Part 227
 L0:negotiated access agreement must stipulate permissions based on the assessment of life-
 L0:cycle needs; make the access agreement part of the contract.

L1:(2) For each technical data or computer software requirement, the
 L0:requiring activity should determine whether the Government's needs can be better satisfied
 L0:through access or formal delivery of the technical data or software (e.g., physical or
 L0:electronic transfer of the data into Government custody). The Government should consider
 L0:access to technical data or software when?
 L0:feasible for technical, legal, or contractual reasons; and

L1:(i) The delivery of technical data or software is not cost-effective or
 L0:or software throughout the life-cycle of the program;

L1:(ii) Access meets the Government's needs for such technical data
 L0:contractor; or

L1:(C) Software support and maintenance provided directly from the

L1:(D) Other contracting or licensing mechanisms including priced options,
 L0:specially negotiated licenses, direct licensing between contractors for qualifying second
 L0:sources, data escrow agreements, deferred delivery solutions, and subscription
 L0:agreements.

L2:(1)(i) Under a data escrow agreement, the Government and the
 L0:contractor identify a third-party escrow agent that will keep designated technical data or
 L0:computer software for safekeeping until a contractually specified condition occurs.
 L0:Government may obtain delivery of the escrowed technical data or computer software.

L1:(ii) If a contractually specified condition occurs, then the
 L0:the contract the Government's license rights in the escrowed technical data or computer
 L0:software.

L1:(iii) Include the data escrow agreement in the contract. Include in

L1:(2) Use of data escrow agreements is not preferable in all cases but

L0:may be useful when formal delivery or access is not feasible or cost-effective during the L0:contract?s period of performance or delivery schedule.

L1:(3) When reviewing offers received in response to a solicitation or other request for

L0:computer software or computer software documentation, data managers should, if

L0:appropriate, balance the original assessment of the Government?s needs with prices offered.

L1:(e) Contract implementation of technical data and software requirements. Ensure that,

L0:wherever practicable, solicitations and contracts?

L1:(1) Identify the type and quantity of the technical data to be delivered under the

L0:contract and the format and media in which the data will be delivered;

L1:(2) Identify the types of computer software and the quantity of computer programs

L0:and computer software documentation to be delivered, any requirements for multiple users

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:at one site or multiple site licenses, and the format and media in which the software or

L0:documentation will be delivered;

L1:(3) Establish each type of data item, computer software, or computer software

L0:documentation to be delivered as a separate contract line item (this requirement may be

L0:satisfied by an exhibit to the contract);

L1:(4) Identify the prices established for each separately priced deliverable item of

L0:technical data, computer software, or computer software documentation under a fixed-price

L0:type contract;

L1:(5) Include delivery schedules and acceptance criteria for each deliverable item of

L0:technical data or computer software;

L1:(6) Specifically identify the place of delivery for each deliverable item of technical

L0:data or computer software; and

L1:(7) Specify in the negotiated terms that any required other than commercial

L0:computer software, related recorded information, and associated license rights identified in

L0:the assessment of life-cycle needs in paragraph (b) of this section must, to the extent

L0:appropriate?

L1:(i) Include computer software delivered in a digital format compatible with

L0:applicable computer programs on relevant system hardware;

L1:(ii) Not rely on additional internal or external other than commercial or

L0:commercial technical data and software, unless such technical data or software is?

L0:meet the Government?s needs; or

L1:(A) Included in the items to be delivered with license rights sufficient to

L0:Government?s needs; and

L1:(B) Commercially available with license rights sufficient to meet the

L1:(iii) Include sufficient information, with license rights sufficient to meet the

L0:Government?s needs, to support maintenance and understanding of interfaces and software

L0:version history when the negotiated terms do not allow for the inclusion of the external or

L0:additional other than commercial or commercial technical data and software.

L0:PGI 227.7104 Contracts under the Small Business Innovation Research Program and

L0:Small Business Technology Transfer Program.

L0:PGI 227.7104-1 Policy.

L0:See section 4(c) of the Small Business Administration?s Small Business Innovation

L0:Research (SBIR) and Small Business Technology Transfer (STTR) Program Policy Directive

L0:(effective May 3, 2023) for guidance on examples of SBIR/STTR phase III, which is

L0:available at

L0:[https://www.sbir.gov/sites/default/files/SBA%20SBIR_STTR_POLICY_DIRECTIVE_May2023](https://www.sbir.gov/sites/default/files/SBA%20SBIR_STTR_POLICY_DIRECTIVE_May2023.pdf)

L0:3.pdf.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 27

L0:Defense FAR Supplement (DFARS) Part 227

L0:PGI 227.7104-2 Rights in SBIR or STTR data.

L0:The clause under which the SBIR/STTR data were generated or developed will govern the

L0:Government's license rights in such SBIR/STTR data. The following examples illustrate the

L0:definition of the SBIR/STTR data protection period and the applicability of the DFARS

PART 28

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

228.102 Performance and payment bonds and alternative payment

Status: active

L0:228.102 Performance and payment bonds and alternative payment

L0:protections for construction contracts.

228.102-1 General

Status: active

L0:228.102-1 General.

L0:The requirement for performance and payment bonds is waived for cost-reimbursement

L0:contracts. However, for cost-type contracts with fixed-price construction subcontracts

L0:over \$40,000, require the prime contractor to obtain from each of its construction

L0:subcontractors performance and payment protections in favor of the prime contractor as

L0:follows:

L1:(1) For fixed-price construction subcontracts over \$40,000, but not exceeding

L0:\$150,000, payment protection sufficient to pay labor and material costs, using any of the

L0:alternatives listed at FAR 28.102-1(b)(1).

L1:(2) For fixed-price construction subcontracts over \$150,000?

L1:(i) A payment bond sufficient to pay labor and material costs; and

L1:(ii) A performance bond in an equal amount if available at no additional cost.

228.102-70 Defense Environmental Restoration Program construction

Status: active

L0:228.102-70 Defense Environmental Restoration Program construction

L0:contracts.

L0:For Defense Environmental Restoration Program construction contracts entered into

L0:pursuant to 10 U.S.C. 2701?

L1:(a) Any rights of action under the performance bond must only accrue to, and be for

L0:the exclusive use of, the obligee named in the bond;

L1:(b) In the event of default, the surety's liability on the performance bond is limited

L0:to the cost of completion of the contract work, less the balance of unexpended funds.

L0:The liability must not exceed the penal sum of the bond;

L1:(c) The surety is not liable for indemnification or compensation of the obligee for loss

L0:or liability arising from personal injury or property damage, even if the injury or
L0:damage was caused by a breach of the bonded contract; and
L1:(d) Once it has taken action to meet its obligations under the bond, the surety is
L0:entitled to any indemnification and identical standard of liability to which the
L0:contractor was entitled under the contract or applicable laws and regulations.

228.105 Other types of bonds

Status: active

L0:228.105 Other types of bonds.
L0:Fidelity and forgery bonds generally are not required but are authorized for use when?
L1:(1) Necessary for the protection of the Government or the contractor; or
L1:(2) The investigative and claims services of a surety company are desired.

228.106 Administration

Status: active

L0:228.106 Administration.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28
L0:Defense FAR Supplement (DFARS) Part 228

228.106-7 Withholding contract payments

Status: active

L0:228.106-7 Withholding contract payments.
L1:(a) Withholding may be appropriate in construction and other than construction
L0:contracts (see FAR 32.112-1(b)).

228.304 Risk-pooling arrangements

Status: active

L0:228.304 Risk-pooling arrangements.
L0:DoD has established the National Defense Projects Rating Plan, also known as the
L0:Special Casualty Insurance Rating Plan, as a risk-pooling arrangement to minimize the
L0:cost to the Government of purchasing the liability insurance listed in FAR 28.307-2.
L0:Use the plan in accordance with the procedures at PGI 228.304 when it provides the
L0:necessary coverage and is more advantageous than commercially available coverage.

228.305 Overseas workers' compensation and war-hazard insurance

Status: active

L0:228.305 Overseas workers' compensation and war-hazard insurance.

L1:(d) When submitting requests for waiver, follow the procedures at PGI 228.305(d).

228.307 Insurance under cost-reimbursement contracts

Status: active

L0:228.307 Insurance under cost-reimbursement contracts.

228.307-1 Group insurance plans

Status: active

L0:228.307-1 Group insurance plans.

L0:The Defense Department Group Term Insurance Plan is available for contractor use

L0:under cost-reimbursement type contracts when approved as provided in department or

L0:agency regulations. A contractor is eligible if?

L1:(a) The number of covered employees is 500 or more; and

L1:(b) The contractor has all cost-reimbursement contracts; or

L1:(c) At least 90 percent of the payroll for contractor operations to be covered by the

L0:Plan is under cost-reimbursement contracts.

228.311 Solicitation provision and contract clause on liability insurance

Status: active

L0:228.311 Solicitation provision and contract clause on liability insurance

L0:under cost-reimbursement contracts.

228.311-1 Contract clause

Status: active

L0:228.311-1 Contract clause.

L0:Insert the clause at FAR 52.228-7, Insurance?Liability to Third Persons, in

L0:solicitations and contracts, other than those for construction and those for architect-

L0:engineer services, when a cost-reimbursement contract is contemplated, unless the

L0:head of the contracting activity waives the requirement for use of the clause.

228.370 Ground and flight risk

Status: active

L0:228.370 Ground and flight risk.

228.370-1 Definitions

Status: active

L0:228.370-1 Definitions.

L0:As used in this section?

L0:?"Aircraft?" means, unless otherwise provided in the contract Schedule, any item,

L0:other than a rocket or missile, intended for flight (e.g., fixed-winged aircraft, blended

L0:wing/lifting bodies, helicopters, vertical take-off or landing aircraft, lighter-than-air

L0:airships, and unmanned aerial vehicles), including emerging technologies that would

L0:commonly be considered aircraft. New production articles become aircraft at a stage of

L0:manufacture or production when a wing, portion of a wing, or engine is attached to a

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L0:fuselage. Blended wing/lifting bodies become aircraft at a stage of manufacture or

L0:production when the center portion and a lifting surface become attached.

L0:?"Civil aircraft?" means an aircraft other than a public aircraft or state aircraft.

L0:?"Contractor managerial personnel?" means the contractor?s directors, officers,

L0:managers, superintendents, or equivalent representatives who have supervision or

L0:direction of?

L1:(1) All, or substantially all, of the contractor?s business;

L1:(2) All, or substantially all, of the contractor?s operation at any one plant or

L0:separate location; or

L1:(3) A separate and complete major industrial operation.

L0:?"Covered aircraft?" means an aircraft owned by or to be delivered to the Government

L0:and, when determined by the contracting officer and specifically identified as such in

L0:the contract Schedule, may include contractor-furnished aircraft that are not intended

L0:for induction into the DoD inventory, including?

L1:(1) Aircraft furnished by the Government to the contractor under a contract

L0:while in the contractor?s possession, care, custody, or control regardless of their location

L0:or state of disassembly or reassembly;

L1:(2) Items removed from a Government-furnished aircraft that are?

L1:(i) Intended for reinstallation on that particular aircraft, which retain their

L0:status as covered aircraft while awaiting installation; and

L1:(ii) Not intended for reinstallation on that particular aircraft, which lose

L0:their status as covered aircraft once removal is complete;

L1:(3) New production aircraft when wholly outside of buildings on the contractor?s

L0:premises or other places described in the contract Schedule (e.g., hush houses, run

L0:stations, and paint facilities); and

L1:(4) Commercial aircraft, to include commercially available off-the-shelf aircraft,

L0:become covered aircraft when the commercial aircraft arrives at the contractor?s place of

L0:performance for modification under the terms of the contract.

L0:?"Crewmember?" means, unless otherwise provided in the contract Schedule,

L0:personnel required in the flight manual, assigned for the purpose of conducting any

L0:flight on behalf of the contractor. It also includes any operator of an unmanned aerial

L0:vehicle.

L0:?"Flight?" means any flight approved in writing by the Government flight

L0:representative, to include taxi test made in the performance of the contract, or flight for

L0:the purpose of safeguarding the aircraft. All aircraft off the contractor's premises shall

L0:be considered to be in flight when on the ground or water for reasonable periods of time
L0:following emergency landings, landings made in performance of the contract, or
L0:landings approved in writing by the contracting officer.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L0:Public aircraft? means an aircraft that meets the definition in 49 U.S.C.

L0:40102(a)(41) and the qualifications in 49 U.S.C. 40125. Specifically, a public aircraft

L0:means any of the following:

L1:(1) An aircraft used only for the Government, except as provided in paragraphs

L1:(5) and (7) of this definition.

L1:(2) An aircraft owned by the Government and operated by any person for

L0:purposes related to crew training, equipment development, or demonstration, except as

L0:provided in paragraph (7) of this definition.

L1:(3) An aircraft owned and operated by the government of a State, the District of

L0:Columbia, or a territory or possession of the United States or a political subdivision of

L0:one of these governments, except as provided in paragraph (7) of this definition.

L1:(4) An aircraft exclusively leased for at least 90 continuous days by the

L0:government of a State, the District of Columbia, or a territory or possession of the

L0:United States or a political subdivision of one of these governments, except as provided

L0:in paragraph (7) of this definition.

L1:(5) An aircraft owned or operated by the armed forces or chartered to provide

L0:transportation or other commercial air service to the armed forces under the conditions

L0:specified by 49 U.S.C. 40125(c). In the preceding sentence, the term ?other commercial

L0:air service? means an aircraft operation that?

L1:(i) Is within the United States territorial airspace;

L1:(ii) The Administrator of the Federal Aviation Administration determines is

L0:available for compensation or hire to the public; and

L1:(iii) Must comply with all applicable civil aircraft rules under title 14, Code

L0:of Federal Regulations.

L1:(6) An unmanned aircraft that is owned and operated by, or exclusively leased

L0:for at least 90 continuous days by, an Indian Tribal government, as defined in section

L0:102 of the Robert T. Stafford Disaster Relief and Emergency Assistance Act (42 U.S.C.

L0:5122), except as provided in paragraph (7) of this definition.

L1:(7) As described in 49 U.S.C. 40125(b), an aircraft described in paragraph (1),

L1:(2), (3), or (4) of this definition does not qualify as a public aircraft in situations where

L0:the aircraft is used for commercial purposes or to carry an individual other than a

L0:crewmember or a qualified non-crewmember.

L0:Public aircraft operation? means operation of an aircraft that meets the legal

L0:definition of public aircraft established in 49 U.S.C. 40102(a)(41) and the legal

L0:qualifications for public aircraft status outlined in 49 U.S.C. 40125.

L0:State aircraft? means an aircraft operated by the Government for sovereign,

L0:noncommercial purposes such as military, customs, and police services. Military

L0:aircraft are afforded status as state aircraft. In very rare circumstances, DoD-

L0:contracted aircraft may be designated, in writing, by a responsible Government official

L0:pursuant to DoD Directive 4500.54E, DoD Foreign Clearance Program, to be operated

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28
 L0:Defense FAR Supplement (DFARS) Part 228
 L0:in state aircraft status, and States may choose to treat them as deemed state aircraft
 L0:when they are operating under a Government contract.
 L0:Workmanship error? means damage to the aircraft that is the result of an
 L0:incorrectly performed skill-based task, operation, or action that was originally planned
 L0:or intended.

228.370-2 General

Status: active

L0:228.370-2 General.

L1:(a) Assignment of a Government flight representative. See PGI 228.370-2(a) for
 L0:procedures on assigning a Government flight representative (GFR) when using the
 L0:clauses at 252.228-7001 and 252.228-7007.

L1:(b) Preaward survey. Before awarding any contract that includes the clause at
 L0:252.228-7001, Ground and Flight Risk, the contracting officer should obtain a preaward
 L0:survey of the offeror's proposed aircraft flight and ground operations facility. If the
 L0:offeror proposed subcontracting any aircraft work, the preaward survey should include
 L0:a review of the subcontractor's facility. For acquisitions falling under the exceptions at
 L0:228.371(b)(1)(iii), (iv), and (vi), the contracting officer must review the documentation
 L0:the offeror submitted with the proposal in response to the DD Form 1423, Contract
 L0>Data Requirements List, to ensure the offeror's commercial insurance provides the
 L0:appropriate coverage required by the clause at 252.228-7001.

L1:(c) Foreign military sales. The exception for foreign military sales (FMS) contracts
 L0:at 228.371(b)(1)(iii) only applies to FMS cases where the FMS customer has explicitly
 L0:refused assumption of risk of loss. If the FMS customer has accepted the standard
 L0:Letter of Offer and Acceptance Standard Terms and Conditions, as described in DoD
 L0:5105.38-M, Security Assistance Management Manual, they have assumed risk of loss.

L1:(d) Commercial derivative aircraft. The exception at 228.371(b)(1)(iv) for
 L0:commercial derivative aircraft only applies if the contractor is a licensed and certified
 L0:Federal Aviation Administration (FAA) repair station for the specific model of aircraft
 L0:under contract, when work is being performed pursuant to the FAA license under 14
 L0:CFR part 145. The FAA's repair station search tool is available at [https://av-](https://av-info.faa.gov/repairstation.asp)
 L0:info.faa.gov/repairstation.asp. All aircraft flying public aircraft operations operate
 L0:under airworthiness certificates maintained by the military services. The FAA
 L0:airworthiness certificate in the exception in this paragraph (d) underlies the military
 L0:service certificate.

L1:(e) Insurance. The clause at 252.228-7001, Ground and Flight Risk, is intended to
 L0:reduce acquisition costs by eliminating the costs of commercial insurance premiums.
 L0:This clause also is intended to encourage the contractor to perform safe and effective
 L0:operations through inclusion of a contractor's share of loss (i.e., a deductible).
 L0:Additionally, the clause requires compliance with the combined regulation/instruction
 L0:entitled Contractor's Flight and Ground Operations? (Air Force Instruction 10-220,

L0:Army Regulation 95-20, Naval Air Systems Command (NAVAIR) Instruction 3710.1

L1:(Series), Coast Guard Instruction M13020.3 (Series), and Defense Contract

L0:Management Agency Instruction 8210-1 (Series)), which provides procedures to

L0:mitigate the risk of loss to the Government. For this reason, paragraph (e)(4)(ii) of the

L0:clause at 252.228-7001 specifies that insurance premium costs are unallowable. In

L0:addition, paragraph (d)(4) of the clause provides that the Government's assumption of

L0:risk does not apply where the loss or damage is covered by available insurance.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L1:(f) Damage to Government aircraft.

L1:(1) Whenever damage to Government aircraft is reported, each incident should

L0:be evaluated on its own merits. When the cost of repair exceeds the contractor's share

L0:of loss provisions, the contracting officer must make a liability determination in

L0:accordance with paragraph (g) of this section.

L1:(2) Contracting officers should consult with the requiring activity and the

L0:assigned contract administration office on replacement, repair, or beyond economic

L0:repair decisions.

L1:(3) See PGI 228.370-2(f) for an example of accident or mishap damage versus

L0:workmanship-error damage.

L1:(g) Contracting officer determination of liability.

L1:(1) When making a liability determination, the contracting officer should seek

L0:input from the GFR and legal counsel, as needed.

L1:(2) The Government's assumption of risk must not extend to damage, loss, or

L0:destruction of covered aircraft that?

L1:(i) Is the result of willful misconduct or lack of good faith on the part of the

L0:contractor's managerial personnel, including the contractor's oversight of

L0:subcontractors;

L1:(ii) Is sustained during flight if either the flight or the crewmembers have

L0:not been approved in advance and in writing by the GFR, who has been authorized in

L0:accordance with the combined regulation/instruction entitled "Contractor's Flight and

L0:Ground Operations?;

L1:(iii) Occurs in the course of transportation by rail, or by conveyance on

L0:public streets, highways, or waterways, unless the transportation is limited to the

L0:vicinity of the contractor's premises, and incidental to work performed under the

L0:contract as described in the Schedule;

L1:(iv) Is covered by insurance;

L1:(v) Occurs after the contracting officer has, in writing, revoked the

L0:Government's assumption of risk; or

L1:(vi) Is sustained due to workmanship errors.

L1:(h) Notice of revocation of the Government's assumption of risk. The liability

L0:provisions of the clause at FAR 52.245-1, Government Property, do not apply to the

L0:aircraft impacted by a notice of revocation.

L1:(1) Preliminary notice of revocation.

L1:(i) When finding that contractor managerial personnel have failed to comply

L0:with the combined regulation/instruction, as required by paragraph (b) of the clause at

L0:252.228-7001, including finding the covered aircraft are exposed to unreasonable
L0:conditions, the contracting officer must issue a preliminary notice of revocation of the
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28
L0:Defense FAR Supplement (DFARS) Part 228
L0:Government's assumption of risk to the contractor and must require the contractor to
L0:comply with contract requirements. Factors for the contracting officer to consider in
L0:determining exposure to unreasonable conditions include, but are not limited to, the
L0:following:

L1:(A) Lack of adequate hangar fire suppression or firefighting vehicles;
L1:(B) Failure to provide adequate procedures to the GFR; or
L1:(C) Systemic failure to comply with approved procedures.

L1:(ii) The preliminary notice of revocation will state the timeframe for the
L0:contractor to correct the noncompliance or conditions.

L1:(2) Notice of revocation. If the contractor fails to correct the cited
L0:noncompliance or conditions within the specified timeframe, the contracting officer
L0:must issue to the contractor a notice of revocation of the Government's assumption of
L0:risk for any covered aircraft.

L1:(i) Thereafter the contractor assumes the entire risk for damage, loss, or
L0:destruction of the previously covered aircraft.

L1:(ii) Any costs incurred by the contractor, including the costs of the
L0:contractor's self-insurance, insurance premiums paid to insure the contractor's
L0:assumption of risk, deductibles associated with such purchased insurance, etc., to
L0:mitigate its risk are unallowable costs.

L1:(iii) The notice of revocation does not relieve the contractor of its obligation
L0:to comply with all other provisions of the clause at 252.228-7001, including the
L0:combined regulation/instruction entitled "Contractor's Flight and Ground Operations".

L1:(iv) Within 3 days of receipt of the contractor's notice of correction, the
L0:contracting officer must notify the contractor whether the Government will resume risk
L0:of loss. The contracting officer must determine that the noncompliance or cited
L0:conditions have been corrected prior to resuming assumption of risk.

L1:(v) Any disputes regarding the contracting officer's notice of revocation must
L0:be subject to FAR clause 52.233-1, Disputes.

L1:(i) Procedures in the event of damage, loss, or destruction of covered aircraft.

L1:(1) In the event of damage, loss, or destruction of covered aircraft, except in
L0:cases covered by paragraph (j)(2) of this section, the contracting officer must evaluate
L0:the contractor's statement of?

L1:(i) The damaged, lost, or destroyed aircraft;
L1:(ii) The time and origin of the damage, loss, or destruction;
L1:(iii) All known interests in commingled property of which aircraft are a part;
L0:and

L1:(iv) The insurance, if any, covering the interest in commingled property.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28
L0:Defense FAR Supplement (DFARS) Part 228

L1:(2) If a new production aircraft is damaged, lost, or destroyed before it has
L0:become a covered aircraft, the Government bears no responsibility for risk of loss.

L1:(3) If a new production aircraft is damaged, lost, or destroyed after it has
L0:become a covered aircraft, the contracting officer must provide written direction to the
L0:contractor to take action in accordance with the contracting officer's written direction
L0:that the aircraft shall be?
L1:(i) Replaced;
L1:(ii) Repaired to the condition immediately prior to the damage; or
L1:(iii) Considered beyond economic repair. The contracting officer must
L0:decide whether further actions are required under the contract.
L1:(4) If a covered aircraft that has been furnished by the Government to the
L0:contractor is damaged, lost, or destroyed while covered, the contracting officer must
L0:provide written direction to the contractor that the aircraft shall be?
L1:(i) Repaired; or
L1:(ii) Considered beyond economic repair. The contracting officer must decide
L0:further actions required under the contract.
L1:(5) The contracting officer must make an equitable adjustment for expenditures
L0:made in performing the obligations under paragraph (h) of the clause at 252.228-7001.
L1:(j) Contracting officer determination of the contractor's share of loss.
L1:(1) The contractor's share of loss or damage to covered aircraft, except for loss or
L0:damage caused by negligence of Government personnel, is the least of?
L1:(i) \$200,000;
L1:(ii) 20 percent of the price or estimated acquisition cost of affected aircraft;
L0:or
L1:(iii) 20 percent of the price or estimated cost of the contract, task order, or
L0:delivery order.
L1:(2) If the Government requires covered aircraft to be replaced or repaired by the
L0:contractor, any resulting equitable adjustment must not include reimbursement of the
L0:contractor's share of loss.
L1:(3) In the event the Government does not decide to replace or repair the covered
L0:aircraft, the clause at 252.228-7001 requires the contractor to credit the contract price
L0:or pay the Government, as directed by the contracting officer, the least of?
L1:(i) \$200,000;
L1:(ii) 20 percent of the price or estimated acquisition cost of affected aircraft;
L0:or
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28
L0:Defense FAR Supplement (DFARS) Part 228
L1:(iii) 20 percent of the price or estimated cost of the contract, task order, or
L0:delivery order.
L1:(4) The costs incurred by the contractor for its share of the loss and for insuring
L0:against that loss are unallowable costs, including but not limited to?
L1:(i) The contractor's share of loss under the Government's self-insurance;
L1:(ii) The costs of the contractor's self-insurance;
L1:(iii) The deductible for any contractor-purchased insurance;
L1:(iv) Insurance premiums paid for contractor-purchased insurance; and
L1:(v) Costs associated with determining, litigating, and defending against the
L0:contractor's liability.

L1:(k) Reimbursement from a third party. If the contracting officer finds or has reason
L0:to believe that the contractor has been reimbursed or otherwise compensated by a third
L0:party for damage, loss, or destruction of covered aircraft and has also been compensated
L0:by the Government, then the contracting officer must demand an equitable
L0:reimbursement. If the contracting officer requests that the contractor provide
L0:reasonable assistance in obtaining recovery, such effort must be an allowable expense of
L0:the contractor.

228.370-3 Aircraft not owned by or to be delivered to the Government

Status: active

L0:228.370-3 Aircraft not owned by or to be delivered to the Government.
L1:(a) When a contract involves aircraft not owned by or to be delivered to the
L0:Government, the contracting officer may use the clause at 252.228-7001 only if the
L0:contracting officer determines that it is in the best interest of the Government.
L1:(b) Potential factors for the contracting officer to consider when deciding which
L0:course of action is in the best interest of the Government include, but are not limited to,
L0:whether?
L1:(1) The cost of hull insurance exceeds the replacement cost of the aircraft;
L1:(2) Insurance is not available (e.g., high-risk experimental flights and
L0:operations of aircraft in a war zone); or
L1:(3) Ground or flight activities that involve contractor-owned and contractor-
L0:operated aircraft may pose risk to Government aircraft (e.g., due to close proximity in
L0:flight).

228.371 Additional clauses

Status: active

L0:228.371 Additional clauses.
L1:(a) Insert the clause at 252.228-7000, Reimbursement for War-Hazard Losses,
L0:when?
L1:(1) The clause at FAR 52.228-4, Worker's Compensation and War-Hazard
L0:Insurance Overseas, is used; and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28
L0:Defense FAR Supplement (DFARS) Part 228
L1:(2) The head of the contracting activity decides not to allow the contractor to
L0:buy insurance for war-hazard losses.
L1:(b) Insert the clause at 252.228-7001, Ground and Flight Risk, in solicitations and
L0:contracts?
L1:(1) For the acquisition, development, production, modification, maintenance,
L0:repair, flight, or overhaul of aircraft owned by or to be delivered to the Government,
L0:except those solicitations and contracts-
L1:(i) That are strictly for activities incidental to the normal operations of the
L0:aircraft (e.g., refueling operations, minor non-structural actions not requiring towing

L0:such as replacing aircraft tires due to wear and tear);
L1:(ii) That are awarded for purchase under FAR part 12 procedures;
L1:(iii) For which a non-DoD customer (including an FMS customer per
L0:225.7305) has decided to allow the use of commercial insurance or other self-insurance;
L1:(iv) For commercial derivative aircraft with an FAA certificate of
L0:airworthiness maintained to FAA standards. Performance under the exception in this
L0:paragraph (b)(1)(iv) must be at a licensed and certified FAA repair station rated for the
L0:type of aircraft and work to be maintained. This exception does not apply to contracts
L0:requiring flights with contractor crewmembers;
L1:(v) Under which the aircraft are to be dismantled and removed from the
L0:inventory; or
L1:(vi) Under which the aircraft are classified as Group 1 or 2 unmanned
L0:aircraft systems per DoD Instruction (DoDI) 6055.07, Mishap Notification,
L0:Investigation, Reporting, and Record Keeping, and the purchase price of the air vehicle,
L0:including installed Government-furnished equipment, is below the cost threshold for a
L0:Class C mishap per DoDI 6055.07; or
L1:(2) Involving aircraft not owned by or to be delivered to the Government, only if
L0:the contracting officer determines that it is in the best interest of the Government. See
L0:228.370-3.
L1:(c) The clause at 252.228-7003, Capture and Detention, may be used when
L0:contractor employees are subject to capture and detention and may not be covered by
L0:the War Hazards Compensation Act (42 U.S.C. 1701 et seq.).
L1:(d) Insert the clause at 252.228-7005, Mishap Reporting and Investigation Involving
L0:Aircraft, Missiles, and Space Launch Vehicles, in solicitations and contracts that involve
L0:the manufacture, modification, overhaul, or repair of aircraft, missiles, and space
L0:launch vehicles.
L1:(e) Insert the clause at 252.228-7006, Compliance with Spanish Laws and
L0:Insurance, in solicitations and contracts for services or construction to be performed in
L0:Spain, unless the Contractor is a Spanish concern.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28
L0:Defense FAR Supplement (DFARS) Part 228
L1:(f) Insert the clause at 252.228-7007, Public Aircraft and State Aircraft
L0:Operations?Liability, in solicitations and contracts that do not include the clause at

252.228-7001 Ground and Flight Risk

Status: active

L0:252.228-7001 Ground and Flight Risk.
L0:As prescribed in 228.371(b), use the following clause:
L0:GROUND AND FLIGHT RISK (MAR 2023)
L1:(a) Definitions. As used in this clause?
L0:?Aircraft? means, unless otherwise provided in the contract Schedule, any item,
L0:other than a rocket or missile, intended for flight (e.g., fixed-winged aircraft, blended
L0:wing/lifting bodies, helicopters, vertical take-off or landing aircraft, lighter-than-air

L0:airships, and unmanned aerial vehicles), including emerging technologies that would commonly be considered aircraft. New production articles become aircraft at a stage of manufacture or production when a wing, portion of a wing, or engine is attached to a fuselage. Blended wing/lifting bodies become aircraft at a stage of manufacture or production when the center portion and a lifting surface become attached.

L0:Contractor's managerial personnel? means the Contractor's directors, officers, managers, superintendents, or equivalent representatives who have supervision or direction of?

L1:(1) All, or substantially all, of the Contractor's business;

L1:(2) All, or substantially all, of the Contractor's operation at any one plant or separate location; or

L1:(3) A separate and complete major industrial operation.

L0:Contractor's premises? means those premises, including subcontractors' premises, designated in the Schedule or in writing by the Contracting Officer, and any other place the aircraft is moved for safeguarding.

L0:Covered aircraft? means an aircraft owned by or to be delivered to the Government and, when determined by the contracting officer and specifically identified as such in the contract Schedule, may include contractor-furnished aircraft that are not intended for induction into the DoD inventory, including?

L1:(1) Aircraft furnished by the Government to the Contractor under this contract

L0:while in the Contractor's possession, care, custody, or control regardless of their location or state of disassembly or reassembly;

L1:(2) Items removed from a Government-furnished aircraft that are?

L1:(i) Intended for reinstallation on that particular aircraft, which retain their status as covered aircraft while awaiting installation; and

L1:(ii) Not intended for reinstallation on that particular aircraft, which lose their status as covered aircraft once removal is complete;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L1:(3) New production aircraft when wholly outside of buildings on the

L0:Contractor's premises or other places described in the Schedule (e.g., hush houses, run stations, and paint facilities); and

L1:(4) Commercial aircraft, to include commercially available off-the-shelf aircraft,

L0:become covered aircraft when the commercial aircraft arrives at the Contractor's place of performance for modification under the terms of the contract.

L0:Crewmember? means, unless otherwise provided in the Schedule, personnel

L0:required in the flight manual, assigned for the purpose of conducting any flight on

L0:behalf of the Contractor. It also includes any operator of an unmanned aerial vehicle.

L0:Flight? means any flight approved in writing by the Government flight

L0:representative, to include taxi test made in the performance of this contract, or flight for

L0:the purpose of safeguarding the aircraft. All aircraft off the Contractor's premises shall

L0:be considered to be in flight when on the ground or water for reasonable periods of time

L0:following emergency landings, landings made in performance of the contract, or

L0:landings approved in writing by the contracting officer.

L0:Workmanship error? means damage to the aircraft that is the result of an

L0:incorrectly performed skill-based task, operation, or action that was originally planned
L0:or intended.

L1:(b) Combined regulation/instruction. The Contractor shall be bound by the
L0:operating procedures contained in the combined regulation/instruction entitled
L0:Contractor's Flight and Ground Operations? (Air Force Instruction 10-220, Army
L0:Regulation 95-20, NAVAIR Instruction 3710.1 (Series), Coast Guard Instruction
L0:M13020.3 (Series), and Defense Contract Management Agency Instruction 8210-1
L1:(Series)) in effect on the date of contract award. Compliance with the combined
L0:regulation/instruction is required from the time of contract award throughout the period
L0:of performance of the contract, regardless of the Government's assumption of risk under
L0:the contract.

L1:(c) Government as self-insurer. The Government self-insures and assumes the risk
L0:of damage to, or loss or destruction of, covered aircraft subject to the following
L0:conditions:

L1:(1) The Contractor's liability to the Government for damage, loss, or destruction
L0:of covered aircraft is limited to the Contractor's share of loss as defined at paragraph (h)
L0:of this clause, except when one of the exclusions at paragraph (d) applies.

L1:(2) The liability provisions of this clause take precedence over the liability
L0:provisions of Federal Acquisition Regulation (FAR) clause 52.245-1, Government
L0:Property, with respect to covered aircraft.

L1:(3) The Contractor is not liable for loss, damage, or destruction of covered
L0:aircraft as the result of normal wear and tear, or intentional damage or destruction as
L0:required in the Schedule.

L1:(4) Conditions for Government assumption of risk in flight are as follows:

L1:(i) The Contractor's crewmembers are approved in writing by the
L0:Government flight representative (GFR).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28
L0:Defense FAR Supplement (DFARS) Part 228

L1:(ii) The flight is approved in writing by the GFR.

L1:(d) Exclusions from the Government's assumption of risk. The Government's
L0:assumption of risk under this clause shall not extend to damage, loss, or destruction of
L0:covered aircraft which?

L1:(1) Is the result of willful misconduct or lack of good faith on the part of the
L0:Contractor's managerial personnel, including the Contractor's oversight of
L0:subcontractors;

L1:(2) Is sustained during flight if either the flight or the crewmembers have not
L0:been approved in advance and in writing by the GFR, who has been authorized in
L0:accordance with the combined regulation/instruction entitled Contractor's Flight and
L0:Ground Operations?;

L1:(3) Occurs in the course of transportation by rail, or by conveyance on public
L0:streets, highways, or waterways, unless the transportation is limited to the vicinity of
L0:the Contractor's premises, and incidental to work performed under the contract as
L0:described in the Schedule;

L1:(4) Is covered by insurance;

L1:(5) Occurs after the Contracting Officer has, in writing, revoked the

L0:Government's assumption of risk in accordance with paragraph (e)(3) of this clause;

L0:or

L1:(6) Is sustained due to workmanship errors.

L1:(e) Revoking the Government's assumption of risk.

L1:(1) The Contracting Officer, when finding that the Contractor's managerial

L0:personnel have failed to comply with paragraph (b) of this clause, will issue a

L0:preliminary notice of revocation requiring the Contractor to comply with contract

L0:requirements within a timeframe specified by the Contracting Officer. In determining

L0:exposure to unreasonable conditions, the Contracting Officer will consider factors

L0:including, but not limited to, the following: lack of adequate hangar fire suppression or

L0:firefighting vehicles, failure to provide adequate procedures to the GFR, or systemic

L0:failure to comply with approved procedures.

L1:(2) Upon receipt of the preliminary notice of revocation, the Contractor shall

L0:promptly correct the noncompliance or cited conditions, regardless of whether there is

L0:agreement that the conditions are unreasonable.

L1:(3) If the Contracting Officer finds that the Contractor failed to correct the cited

L0:noncompliance or conditions within the specified timeframe, the Contracting Officer will

L0:issue a notice of revocation of the Government's assumption of risk for any covered

L0:aircraft.

L1:(4) If the Contracting Officer issues a notice of revocation pursuant to the terms

L0:of this clause?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L1:(i) The Contractor shall thereafter assume the entire risk for damage, loss,

L0:or destruction of the previously covered aircraft;

L1:(ii) Any costs incurred by the Contractor (including the costs of the

L0:Contractor's self-insurance, insurance premiums paid to insure the Contractor's

L0:assumption of risk, deductibles associated with such purchased insurance, etc.) to

L0:mitigate its risk are unallowable costs; and

L1:(iii) The liability provisions of the clause at FAR 52.245-1, Government

L0:Property, are not applicable to the aircraft impacted by the notice of revocation.

L1:(5) The Contractor shall promptly notify the Contracting Officer when the

L0:noncompliance or cited conditions have been corrected. Within 3 days of receipt of the

L0:Contractor's notice of correction, the Contracting Officer will notify the Contractor

L0:whether the Government will resume risk of loss. The Contracting Officer will

L0:determine that the noncompliance or cited conditions have been corrected prior to

L0:resuming assumption of risk.

L1:(6) The notice of revocation does not relieve the Contractor of its obligation to

L0:comply with all other provisions of this clause, including the combined

L0:regulation/instruction entitled "Contractor's Flight and Ground Operations."

L1:(7) Any disputes regarding the Contracting Officer's notice of revocation shall

L0:be subject to FAR clause 52.233-1, Disputes.

L1:(f) Contractor's exclusion of insurance costs. The Contractor warrants that the

L0:contract price does not and will not include, except as may be authorized in this clause,

L0:any charge or contingency reserve for insurance (including the Contractor's share of

L0:loss) covering damage, loss, or destruction of covered aircraft when the risk has been
L0:assumed by the Government even if the assumption may be terminated for covered
L0:aircraft.

L1:(g) Procedures in the event of damage, loss, or destruction.

L1:(1) In the event of damage, loss, or destruction of covered aircraft, the
L0:Contractor shall take all reasonable steps to protect the aircraft from further damage, to
L0:separate damaged and undamaged aircraft, and to put all aircraft in the best possible
L0:order. Except in cases covered by paragraph (h)(2) of this clause, the Contractor shall
L0:furnish to the Contracting Officer a statement of?

L1:(i) The damaged, lost, or destroyed aircraft;

L1:(ii) The time and origin of the damage, loss, or destruction;

L1:(iii) All known interests in commingled property of which aircraft are a part;
L0:and

L1:(iv) The insurance, if any, covering the interest in commingled property.

L1:(2) If a new production aircraft is damaged, lost, or destroyed before it has
L0:become a covered aircraft, the Government bears no responsibility for risk of loss.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L1:(3) If a new production aircraft is damaged, lost, or destroyed after it has
L0:become a covered aircraft, the Contractor shall take action in accordance with the
L0:Contracting Officer's written direction that the aircraft shall be?

L1:(i) Replaced;

L1:(ii) Repaired to the condition immediately prior to the damage; or

L1:(iii) Considered beyond economic repair. The Contracting Officer will decide
L0:whether further actions are required under the contract.

L1:(4) If a covered aircraft that has been furnished by the Government to the
L0:Contractor is damaged, lost, or destroyed while covered, the Contractor shall take action
L0:in accordance with the Contracting Officer's written direction that the aircraft shall
L0:be?

L1:(i) Repaired; or

L1:(ii) Considered beyond economic repair. The Contracting Officer will decide
L0:further actions required under the contract.

L1:(5) The Contracting Officer will make an equitable adjustment for expenditures
L0:made in performing the obligations under this paragraph (g).

L1:(h) Contractor's share of loss.

L1:(1) The Contractor's share of loss or damage to covered aircraft, except for loss
L0:or damage caused by negligence of Government personnel, is the least of?

L1:(i) \$200,000;

L1:(ii) 20 percent of the price or estimated acquisition cost of affected aircraft;
L0:or

L1:(iii) 20 percent of the price or estimated cost of the contract, task order, or
L0:delivery order.

L1:(2) If the Government requires covered aircraft be replaced or repaired by the
L0:Contractor, any resulting equitable adjustment shall not include reimbursement of the
L0:Contractor's share of loss.

L1:(3) In the event the Government does not decide to replace or repair, the
L0:Contractor agrees to credit the contract price or pay the Government, as directed by the
L0:Contracting Officer, the least of?
L1:(i) \$200,000;
L1:(ii) 20 percent of the price or estimated acquisition cost of affected aircraft;
L0:or
L1:(iii) 20 percent of the price or estimated cost of the contract, task order, or
L0:delivery order.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28
L0:Defense FAR Supplement (DFARS) Part 228
L1:(4) The costs incurred by the Contractor for its share of the loss and for insuring
L0:against that loss are unallowable costs, including but not limited to?
L1:(i) The Contractor's share of loss under the Government's self-insurance;
L1:(ii) The costs of the Contractor's self-insurance;
L1:(iii) The deductible for any Contractor-purchased insurance;
L1:(iv) Insurance premiums paid for Contractor-purchased insurance; and
L1:(v) Costs associated with determining, litigating, and defending against the
L0:Contractor's liability.
L1:(i) Reimbursement from a third party. In the event the Contractor is reimbursed or
L0:compensated by a third party for damage, loss, or destruction of covered aircraft and
L0:has also been compensated by the Government, the Contractor shall equitably
L0:reimburse the Government. The Contractor shall do nothing to prejudice the
L0:Government's right to recover against third parties for damage, loss, or destruction.
L0:Upon the request of the Contracting Officer or authorized representative, the
L0:Contractor shall at Government expense furnish to the Government all reasonable
L0:assistance and cooperation (including the prosecution of suit and the execution of
L0:instruments of assignment or subrogation) in obtaining recovery.
L1:(j) Liability to third parties. Unless the flight and crewmembers have been
L0:approved in writing by the GFR, the Contractor shall not be reimbursed for liability to
L0:third parties for loss or damage to property or for death or bodily injury caused by
L0:covered aircraft during flight, even if the Government has accepted such liability under
L0:any other provisions of the contract.
L1:(k) Subcontracts. The Contractor shall incorporate the requirements of this clause,
L0:including this paragraph (k), in subcontracts to include subcontracts for commercial
L0:products and commercial services, except?
L1:(1) The Contractor shall not include paragraph (f) of this clause in subcontracts
L0:for commercial products or commercial services; and
L1:(2) The Contractor shall not incorporate the requirements of this clause in
L0:subcontracts with Federal Aviation Administration (FAA) part 145 repair stations
L0:performing work pursuant to their FAA license.

252.228-7000 Reimbursement for War-Hazard Losses

Status: active

L0:252.228-7000 Reimbursement for War-Hazard Losses.

L0:As prescribed in 228.371(a), use the following clause:

L0:REIMBURSEMENT FOR WAR-HAZARD LOSSES (DEC 1991)

L1:(a) Costs for providing employee war-hazard benefits in accordance with paragraph

L1:(b) of the Workers' Compensation and War-Hazard Insurance clause of this contract are

L0:allowable if the Contractor?

L1:(1) Submits proof of loss files to support payment or denial of each claim;

L1:(2) Subject to Contracting Officer approval, makes lump sum final settlement of

L0:any open claims and obtains necessary release documents within one year of the

L0:expiration or termination of this contract, unless otherwise extended by the Contracting

L0:Officer; and

L1:(3) Provides the Contracting Officer at the time of final settlement of this

L0:contract?

L0:mature.

L1:(i) An investigation report and evaluation of any potential claim; and

L1:(ii) An estimate of the dollar amount involved should the potential claim

L1:(b) The cost of insurance for liabilities reimbursable under this clause is not

L0:allowable.

L1:(c) The Contracting Officer may require the Contractor to assign to the Government

L0:all right, title, and interest to any refund, rebate, or recapture arising out of any claim

L0:settlements.

L1:(d) The Contractor agrees to?

L1:(1) Investigate and promptly notify the Contracting Officer in writing of any

L0:occurrence which may give rise to a claim or potential claim, including the estimated

L0:amount of the claim;

L1:(2) Give the Contracting Officer immediate written notice of any suit or action

L0:filed which may result in a payment under this clause; and

L1:(3) Provide assistance to the Government in connection with any third party

L0:suit or claim relating to this clause which the Government elects to prosecute or defend

L0:in its own behalf.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L0:(End of clause)

252.228-7002 Reserved

Status: active

L0:252.228-7002 Reserved.

L0:(End of clause)

252.228-7003 Capture and Detention

Status: active

L0:252.228-7003 Capture and Detention.

L0:As prescribed in 228.371(c), use the following clause:

L0:CAPTURE AND DETENTION (DEC 1991)

L1:(a) As used in this clause?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L1:(1) "Captured person" means any employee of the Contractor who is?

L1:(i) Assigned to duty outside the United States for the performance of this

L0:contract; and

L1:(ii) Found to be missing from his or her place of employment under

L0:circumstances that make it appear probable that the absence is due to the action of the

L0:force of any power not allied with the United States in a common military effort; or

L1:(iii) Known to have been taken prisoner, hostage, or otherwise detained by

L0:the force of such power, whether or not actually engaged in employment at the time of

L0:capture; provided, that at the time of capture or detention, the person was either?

L0:employment under this contract; or

L1:(A) Engaged in activity directly arising out of and in the course of

L0:this contract.

L1:(B) Captured in an area where required to be only in order to perform

L1:(2) A "period of detention" begins with the day of capture and continues until

L0:the captured person is returned to the place of employment, the United States, or is able

L0:to be returned to the jurisdiction of the United States, or until the person's death is

L0:established or legally presumed to have occurred by evidence satisfactory to the

L0:Contracting Officer, whichever occurs first.

L1:(3) "United States" comprises geographically the 50 states and the District of

L0:Columbia.

L1:(4) "War Hazards Compensation Act" refers to the statute compiled in Chapter

L0:12 of Title 42, U.S. Code (sections 1701-1717), as amended.

L1:(b) If pursuant to an agreement entered into prior to capture, the Contractor is

L0:obligated to pay and has paid detention benefits to a captured person, or the person's

L0:dependents, the Government will reimburse the Contractor up to an amount equal to

L0:the lesser of?

L1:(1) Total wage or salary being paid at the time of capture due from the

L0:Contractor to the captured person for the period of detention; or

L1:(2) That amount which would have been payable if the detention had occurred

L0:under circumstances covered by the War Hazards Compensation Act.

L1:(c) The period of detention shall not be considered as time spent in contract

L0:performance, and the Government shall not be obligated to make payment for that time

L0:except as provided in this clause.

L1:(d) The obligation of the Government shall apply to the entire period of detention,

L0:except that it is subject to the availability of funds from which payment can be made.

L0:The rights and obligations of the parties under this clause shall survive prior expiration,

L0:completion, or termination of this contract.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L1:(e) The Contractor shall not be reimbursed under this clause for payments made if
L0:the employees were entitled to compensation for capture and detention under the War
L0:Hazards Compensation Act, as amended.
L0:(End of clause)

252.228-7004 Reserved

Status: active

L0:252.228-7004 Reserved.

252.228-7005 Mishap Reporting and Investigation Involving Aircraft, Missiles,

Status: active

L0:252.228-7005 Mishap Reporting and Investigation Involving Aircraft, Missiles,
L0:and Space Launch Vehicles.
L0:As prescribed in 228.371(d), use the following clause:

L0:MISHAP REPORTING AND INVESTIGATION INVOLVING AIRCRAFT, MISSILES, L0:AND SPACE LAUNCH VEHICLES (NOV 2019)

L1:(a) The Contractor shall report promptly to the Administrative Contracting Officer
L0:all pertinent facts relating to each mishap involving an aircraft, missile, or space launch
L0:vehicle being manufactured, modified, repaired, or overhauled in connection with this
L0:contract.
L1:(b) If the Government conducts an investigation of the mishap, the Contractor shall
L0:cooperate and assist the Government's personnel until the investigation is complete.
L1:(c) The Contractor shall include a clause in subcontracts under this contract to
L0:require subcontractor cooperation and assistance in mishap investigations.
L0:(End of clause)

252.228-7006 Compliance with Spanish Laws and Insurance

Status: active

L0:252.228-7006 Compliance with Spanish Laws and Insurance.
L0:As prescribed in 228.371(e), use the following clause:

L0:COMPLIANCE WITH SPANISH LAWS AND INSURANCE (DEC 1998)

L1:(a) The requirements of this clause apply only if the Contractor is not a Spanish
L0:concern.
L1:(b) The Contractor shall, without additional expense to the United States
L0:Government, comply with all applicable Spanish Government laws pertaining to
L0:sanitation, traffic, security, employment of labor, and all other laws relevant to the
L0:performance of this contract. The Contractor shall hold the United States Government
L0:harmless and free from any liability resulting from the Contractor's failure to comply
L0:with such laws.
L1:(c) The Contractor shall, at its own expense, provide and maintain during the entire

L0:performance of this contract, all workmen's compensation, employees' liability, bodily
 L0:injury insurance, and other required insurance adequate to cover the risk assumed by
 L0:the Contractor. The Contractor shall indemnify and hold harmless the United States
 L0:Government from liability resulting from all claims for damages as a result of death or
 L0:injury to personnel or damage to real or personal property related to the performance of
 L0:this contract.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L1:(d) The Contractor agrees to represent in writing to the Contracting Officer, prior to
 L0:commencement of work and not later than 15 days after the date of the Notice to
 L0:Proceed, that the Contractor has obtained the required types of insurance in the
 L0:following minimum amounts. The representation also shall state that the Contractor
 L0:will promptly notify the Contracting Officer of any notice of cancellation of insurance or
 L0:material change in insurance coverage that could affect the United States Government's
 L0:interests.

L0:Type of Insurance

L0:Coverage

L0:per Person

L0:Coverage per

L0:Accident

L0:Property

L0:Damage

L0:Comprehensive

L0:General Liability

L0:\$300,000

L0:\$1,000,000

L0:\$100,000

L1:(e) The Contractor shall provide the Contracting Officer with a similar
 L0:representation for all subcontracts with non-Spanish concerns that will perform work in
 L0:Spain under this contract.

L1:(f) Insurance policies required herein shall be purchased from Spanish insurance
 L0:companies or other insurance companies legally authorized to conduct business in
 L0:Spain. Such policies shall conform to Spanish laws and regulations and shall?

L1:(1) Contain provisions requiring submission to Spanish law and jurisdiction of
 L0:any problem that may arise with regard to the interpretation or application of the
 L0:clauses and conditions of the insurance policy;

L1:(2) Contain a provision authorizing the insurance company, as subrogee of the
 L0:insured entity, to assume and attend to directly, with respect to any person damaged,
 L0:the legal consequences arising from the occurrence of such damages;

L1:(3) Contain a provision worded as follows: "The insurance company waives any
 L0:right of subrogation against the United States of America that may arise by reason of
 L0:any payment under this policy.?"

L1:(4) Not contain any deductible amount or similar limitation; and

L1:(5) Not contain any provisions requiring submission to any type of arbitration.

L0:(End of clause)

252.228-7007 Public Aircraft and State Aircraft Operations?Liability

Status: active

L0:252.228-7007 Public Aircraft and State Aircraft Operations?Liability.

L0:As prescribed in 228.371(f), use the following clause:

L0:PUBLIC AIRCRAFT AND STATE AIRCRAFT OPERATIONS?LIABILITY

L0:(MAR 2023)

L1:(a) Definitions. As used in this clause?

L0:?Civil aircraft? means an aircraft other than a public aircraft or state aircraft.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L0:?Public aircraft? means an aircraft that meets the definition in 49 U.S.C.

L0:40102(a)(41) and the qualifications in 49 U.S.C. 40125. Specifically, a public aircraft

L0:means any of the following:

L1:(1) An aircraft used only for the Government, except as provided in paragraphs

L1:(5) and (7) of this definition.

L1:(2) An aircraft owned by the Government and operated by any person for

L0:purposes related to crew training, equipment development, or demonstration, except as

L0:provided in paragraph (7) of this definition.

L1:(3) An aircraft owned and operated by the government of a State, the District of

L0:Columbia, or a territory or possession of the United States or a political subdivision of

L0:one of these governments, except as provided in paragraph (7) of this definition.

L1:(4) An aircraft exclusively leased for at least 90 continuous days by the

L0:government of a State, the District of Columbia, or a territory or possession of the

L0:United States or a political subdivision of one of these governments, except as provided

L0:in paragraph (7) of this definition.

L1:(5) An aircraft owned or operated by the armed forces or chartered to provide

L0:transportation or other commercial air service to the armed forces under the conditions

L0:specified by 49 U.S.C. 40125(c). In the preceding sentence, the term ?other commercial

L0:air service? means an aircraft operation that?

L1:(i) Is within the United States territorial airspace;

L1:(ii) The Administrator of the Federal Aviation Administration determines is

L0:available for compensation or hire to the public; and

L1:(iii) Must comply with all applicable civil aircraft rules under title 14, Code

L0:of Federal Regulations.

L1:(6) An unmanned aircraft that is owned and operated, or exclusively leased for

L0:at least 90 continuous days, by an Indian Tribal government, as defined in section 102

L0:of the Robert T. Stafford Disaster Relief and Emergency Assistance Act (42 U.S.C.

L0:5122), except as provided in paragraph (7) of this definition.

L1:(7) As described in 49 U.S.C. 40125(b), an aircraft described in paragraph (1),

L1:(2), (3), or (4) of this definition does not qualify as a public aircraft when the aircraft is

L0:used for commercial purposes or to carry an individual other than a crewmember or a

L0:qualified non-crewmember.

L0:Public aircraft operation? means operation of an aircraft that meets the legal

L0:definition of public aircraft established in 49 U.S.C. 40102(a)(41) and the legal

L0:qualifications for public aircraft status outlined in 49 U.S.C. 40125.

L0:State aircraft? means an aircraft operated by the Government for sovereign,

L0:noncommercial purposes such as military, customs, and police services. Military

L0:aircraft are afforded status as state aircraft. In very rare circumstances, DoD-

L0:contracted aircraft may be designated, in writing, by a responsible Government official

L0:pursuant to DoD Directive 4500.54E, DoD Foreign Clearance Program, to be operated

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L0:in state aircraft status, and such status cannot be deemed without a written

L0:designation by an authorized Government official.

L1:(b) Combined regulation/instruction. Upon award, for contract performance to be

L0:conducted as a public aircraft operation, the Contractor shall be bound by the operating

L0:procedures contained in the combined regulation/instruction entitled Contractor's

L0:Flight and Ground Operations? (Air Force Instruction 10-220, Army Regulation 95-20,

L0:NAVAIR Instruction 3710.1 (Series), Coast Guard Instruction M13020.3 (Series), and

L0:Defense Contract Management Agency Instruction 8210-1 (Series)) in effect on the date

L0:of contract award.

L1:(c) Contractor liability for operations for contract performance conducted as public

L0:aircraft operations or state aircraft operations.

L1:(1) The Contractor assumes responsibility for all damage or injury to persons or

L0:property, including the Contractor's employees and property, and Government

L0:personnel and property, occasioned through the use, maintenance, and operation of the

L0:Contractor's aircraft or other equipment by, or the action of, the Contractor or the

L0:Contractor's employees and agents.

L1:(2) The Contractor, at the Contractor's expense, shall maintain adequate public

L0:liability and property damage insurance, including hull insurance for the Contractor's

L0:aircraft, during the duration of this contract, insuring the Contractor against all claims

L0:for injury or damage.

L1:(3) The Contractor shall maintain workers' compensation and other legally

L0:required insurance with respect to the Contractor's own employees and agents.

L1:(4) The Government will in no event be liable or responsible for damage or

L0:injury to any person or property occasioned through the use, maintenance, or operation

L0:of any aircraft or other equipment by, or the action of, the Contractor or the Contractor's

L0:employees and agents in performing under this contract, and the Government shall be

L0:indemnified and saved harmless against claims for damage or injury in such cases.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L0:PGI 228?BONDS AND INSURANCE

L0:PGI 228.3--INSURANCE

L0:PGI 228.304 Risk-pooling arrangements.

L1:(1) The plan?

L1:(i) Is implemented by attaching an endorsement to standard insurance policy forms

L0:for workers' compensation, employer's liability, comprehensive general, and automobile

L0:liability. The endorsement states that the instant policy is subject to the National Defense

L0:Projects Rating Plan.

L1:(ii) Applies to eligible defense projects of one or more departments/agencies. For

L0:purposes of this section, a defense project is any eligible contract or group of contracts with

L0:the same contractor.

L1:(A) A defense project is eligible when?

L1:(1) Eligible contracts represent, at the inception of the plan, at least 90

L0:percent of the payroll for the total operations at project locations; and

L1:(2) The annual insurance premium is estimated to be at least \$10,000.

L1:(B) A contract is eligible when it is?

L1:(1) Either domestic or foreign;

L1:(2) Cost-reimbursement type; or

L1:(3) Fixed price with redetermination provisions.

L1:(2) Under construction contracts, include construction subcontractors in the prime

L0:contractor's plan only when subcontractor operations are at the project site, and the

L0:subcontract provides that the prime contractor will furnish insurance.

L1:(3) Use the agreement in Table 28-1, Insurance Rating Plan Agreement, when the

L0:Government assumes contractor premium payments upon contract termination or

L0:completion.

L1:(4) The Federal Tort Claims Act provides protection for Government employees while

L0:driving Government-owned vehicles in the performance of their assigned duties. Include the

L0:endorsement in Table 28-2, Automobile Insurance Policy Endorsement, in automobile

L0:liability insurance policies provided under the National Defense Projects Rating Plan.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L0:TABLE 28-1, INSURANCE RATING PLAN RATING AGREEMENT

L0:Special Casualty Insurance Rating Plan

L0:Assignment-Assumption of Premium Obligations

L0:It is agreed that 100 percent* of the return premiums and premium refunds (and

L0:dividends) due or to become due the prime contractor under the policies to which the

L0:National Defense Projects Rating Plan Endorsement made a part of policy

L0:_____ applies are hereby assigned to and shall be paid to the United

L0:States of America, and the prime contractor directs the Company to make such

L0:payments to the office designated for contract administration acting for and on account of

L0:the United States of America.

L0:The United States of America hereby assumes and agrees to fulfill all present and

L0:future obligations of the prime contractor with respect to the payment of 100 percent* of

L0:the premiums under said policies.

L0:This agreement, upon acceptance by the prime contractor, the United States of

L0:America, and the Company shall be effective from _____

L0:Accepted_____ (Date)

L0:_____ (Name of Insurance Company)

L0:By _____(Title of Official Signing)

L0:Accepted_____ (Date)

L0:United States of America

L0:By _____ (Authorized Representative)

L0:Accepted_____ (Date)

L0:_____ (Prime Contractor)

L0:By _____ (Authorized Representative)

L0:*In the event the Government has less than a 100 percent interest in premium funds or
L0:dividends, modify the assignment to reflect the percentage of interest and extent of the
L0:Government's assumption of additional premium obligation.

L0:TABLE 28-2, AUTOMOBILE INSURANCE POLICY ENDORSEMENT

L0:It is agreed that insurance provided by the policy with respect to the ownership,
L0:maintenance, or use of automobiles, including loading and unloading thereof, does not
L0:apply to the following as insureds: The United States of America, any of its agencies, or
L0:any of its officers or employees.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L0:PGI 228.305 Overseas workers' compensation and war-hazard insurance.

L1:(d) Submit requests for waiver through department/agency channels. Include the
L0:following in the request:

L1:(i) Name and address of contractor.

L1:(ii) Contract number.

L1:(iii) Date of award.

L1:(iv) Place of performance.

L1:(v) Name of insurance company providing Defense Base Act coverage.

L1:(vi) Nationality of employees to whom waiver is to apply.

L1:(vii) Reason for waiver.

L0:PGI 228.370 Ground and flight risk.

L0:PGI 228.370-2 General.

L1:(a) Assignment of a Government flight representative. DFARS 252.228-7001,

L0:Ground and Flight Risk, requires the assignment of a Government flight representative

L1:(GFR) to administer the requirements of the combined instruction Contractor's Flight

L0:and Ground Operations, (DCMA INST 8210-1 AFI 10-220, AR 95-20, NAVAIRINST

L0:3710.1 (Series), and COMDTINST M13020.3). At the time the solicitation is issued,

L0:contracting officers must contact DCMA Aircraft Operations (AO) and the appropriate

L0:military service to obtain technical advice and allow adequate lead time for assigning a

L0:GFR. Make requests for assignment of a GFR to?

L0:HQ DCMA: DCMA-AO

L0:6090 Strathmore Rd

L0:Building 54

L0:Richmond, VA 23237

L0:804-608-6800

L0>Email: dcma.lee.hq.mbx.ao-inbox@mail.mil (include "Ground and Flight Risk Clause"

L0:on the subject line)

L0:Army: HQ, Army Materiel Command

L0:ATTN: AMPE-SF

L0:4400 Martin Road

L0:Redstone Arsenal, AL 35898

L0:520-691-0040

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L0:Navy: Commander, Naval Air Systems Command (AIR-09F)

L0:22541 Millstone Road, Unit 10

L0:Patuxent River, MD 20670-1601

L0:301- 342-7233

L0:Air Force: HQ AFMC/A3V

L0:508 W. Choctawhatchee

L0:Eglin AFB, FL 32542-5713

L0:850- 882-7890

L0:Workflow: afmc.a3v@us.af.mil

L0:Coast Guard: Commanding Officer

L0:Aviation Logistics Center

L0:U.S. Coast Guard

L0:1664 Weeksville Road, Building 63

L0:Elizabeth City, NC 27909-6725

L1:(c) Foreign military sales. The Government self-insures through the use of the clause at

L0:252.228-7001, which requires risk-mitigation procedures in lieu of private-sector,

L0:commercially-available hull insurance to cover the physical aircraft from damage or

L0:destruction, similar to the comprehensive portion of automobile insurance. It does not

L0:address personnel liability. For contracts falling under the exceptions at DFARS

L0:228.371(b)(1)(iii), (iv), and (vi), review the commercial insurance policy to determine what

L0:coverage exists on the contract aircraft. Commercial hull insurance policies may contain

L0:various coverage exclusions, particularly for Government-furnished aircraft, which may

L0:mean the Government is at risk without the risk management safeguards provided through

L0:the Combined Instruction.

L1:(f) Damage to Government aircraft. Whenever damage to Government aircraft is

L0:reported, particularly when the cost of repair exceeds the contractor's share of loss

L0:provisions, the contracting officer must make a proper liability determination. For most

L0:situations, determining whether an incident is an accident or mishap, or a workmanship error

L0:can be made based on intent of the employee(s) involved. Although each incident involving

L0:damage should be evaluated on its own merits, use the following general rules and

L0:examples when determining if an incident constitutes an accident or mishap (damage

L0:normally covered under the clause at 252.228-7001) or a workmanship error (damage not

L0:normally covered under the clause at 252.228-7001).

L1:(1) An accident or mishap is the result of a task, operation, or action that was not

L0:originally planned or intended. For example, a mechanic was pushing a stand next to the

L0:aircraft and scratches the inlet coating. The intent of the task was to move the stand, not to

L0:scratch the coating. This would be considered accident or mishap damage to the aircraft,

L0:and a contractor should expect to be reimbursed under the clause at 252.228-7001 (minus
L0:the appropriate contractor share of loss).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 28

L0:Defense FAR Supplement (DFARS) Part 228

L2:(2)(i) A workmanship error consists of damage that is the result of an incorrectly

L0:performed skill-based task, operation, or action that was originally planned or intended, but

L0:the end result was not within allowable limits. For example, a mechanic was scraping

L0:coating off an inlet and removed too much material. The intent of the task was to scrape the

L0:inlet coating, but too much was removed. This would not be considered aircraft damage

L0:reimbursed under the clause at 252.228-7001.

L1:(ii) Missing a step in a procedure or checklist item is not considered a skill-

L0:based error and therefore is not considered workmanship error damage.

PART 29

SUBPART 252.2 ? -TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2--TEXT OF PROVISIONS AND CLAUSES

229.101-70 Resolving tax problems

Status: active

L0:229.101-70 Resolving tax problems.

L2:(a)(1) Within DoD, the agency-designated legal counsels are the defense agency

L0:General Counsels, the General Counsels of the Navy and Air Force, and for the Army,

L0:the Chief, Contract Law Division, Office of the Judge Advocate General. For additional

L0:information on the designated legal counsels, see PGI 229.101-70(a).

L1:(2) Before purchasing goods or services from a foreign source, consult the agency-

L0:designated counsel.

L1:(b) For information on fuel excise taxes, see PGI 229.101-70 (b).

L1:(c) For guidance on directing a contractor to litigate the applicability of a particular

L0:tax, see PGI 229.101-70 (c).

L1:(d) For information on tax relief agreements between the United States and

L0:European foreign governments, see PGI 229.101-70 (d).

229.170 Reporting of foreign taxation on U.S. assistance programs

Status: active

L0:229.170 Reporting of foreign taxation on U.S. assistance programs.

229.170-1 Definition

Status: active

L0:229.170-1 Definition.

L0:Commodities, as used in this section, means any materials, articles, supplies, goods, or

L0:equipment.

229.170-2 Policy

Status: active

L0:229.170-2 Policy.

L1:(a) By law, bilateral agreements with foreign governments must include a provision

L0:that commodities acquired under contracts funded by U.S. assistance programs must be

L0:exempt from taxation by the foreign government. If taxes or customs duties

L0:nevertheless are imposed, the foreign government must reimburse the amount of such
L0:taxes to the U.S. Government (Section 579 of Division E of the Consolidated
L0:Appropriations Act, 2003 (Pub. L. 108-7).
L1:(b) This foreign tax exemption?
L1:(1) Applies to a contract or subcontract for commodities when?
L1:(i) The funds are appropriated by the annual foreign operations
L0:appropriations act; and
L1:(ii) The value of the contract or subcontract is \$500 or more;
L1:(2) Does not apply to the acquisition of services;
L1:(3) Generally, is implemented through letters of offer and acceptance, other
L0:country-to-country agreements, or Federal interagency agreements; and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 29
L0:Defense FAR Supplement (DFARS) Part 229
L1:(4) Requires reporting of noncompliance for effective implementation.

229.170-3 Reports

Status: active

L0:229.170-3 Reports.
L0:The contracting officer must submit a report to the designated Security Assistance
L0:Office when a foreign government or entity imposes tax or customs duties on
L0:commodities acquired under contracts or subcontracts meeting the criteria of 229.170-
L0:2(b)(1). Follow the procedures at PGI 229.170-3 for submission of reports.

229.170-4 Contract clause

Status: active

L0:229.170-4 Contract clause.
L0:Insert the clause at 252.229-7011, Reporting of Foreign Taxes?U.S. Assistance
L0:Programs, in solicitations and contracts funded with U.S. assistance appropriations
L0:provided in the annual foreign operations appropriations act.

229.204 Federal excise tax on specific foreign contract payments

Status: active

L0:229.204 Federal excise tax on specific foreign contract payments.
L0:The contracting officer must not authorize the Governmentwide commercial purchase
L0:card as a method of payment during any contract period of performance if the contract
L0:includes the clause at FAR 52.229-12, Tax on Certain Foreign Procurements, unless the
L0:contract also includes the clause at 252.229-7014, Full Exemption from Two-Percent
L0:Excise Tax on Certain Foreign Procurements, indicating that the contractor is fully
L0:exempt from the tax.

229.402 Foreign contracts

Status: active

L0:229.402 Foreign contracts.

229.402-70 Additional provisions and clauses

Status: active

L0:229.402-70 Additional provisions and clauses.

L1:(a) Insert the basic or the alternate of the clause at 252.229-7001, Tax Relief, in L0:solicitations and contracts when a contract will be awarded to a foreign concern for L0:performance in a foreign country.

L1:(1) Insert the basic clause in solicitations and contracts when the contract will L0:be performed in a foreign country other than Germany.

L1:(2) Insert the alternate I clause in solicitations and contracts when the contract L0:will be performed in Germany.

L1:(b) Insert the clause at 252.229-7002, Customs Exemptions (Germany), in L0:solicitations and contracts requiring the import of U.S. manufactured products into L0:Germany.

L2:(c)(1) Insert the clause at 252.229-7003, Tax Exemptions (Italy), in solicitations and L0:contracts when contract performance will be in Italy.

L1:(2) Insert the provision at 252.229-7012, Tax Exemptions (Italy)?
L0:Representation, in solicitations that contain the clause at 252.229-7003, Tax
L0:Exemptions (Italy). If the solicitation includes the provision at FAR 52.204-7, do not
L0:separately list 252.229-7012 in the solicitation.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 29

L0:Defense FAR Supplement (DFARS) Part 229

L1:(d) Insert the clause at 252.229-7004, Status of Contractor as a Direct Contractor
L1:(Spain), in solicitations and contracts requiring the import into Spain of supplies for
L0:construction, development, maintenance, or operation of Spanish-American
L0:installations and facilities.

L2:(e)(1) Insert the clause at 252.229-7005, Tax Exemptions (Spain), in solicitations
L0:and contracts when contract performance will be in Spain.

L1:(2) Insert the provision at 252.229-7013, Tax Exemptions (Spain)?
L0:Representation, in solicitations that contain the clause at 252.229-7005, Tax
L0:Exemptions (Spain). If the solicitation includes the provision at FAR 52.204-7, do not
L0:separately list 252.229-7013 in the solicitation.

L1:(f) Insert the clause at 252.229-7006, Value Added Tax Exclusion (United Kingdom),
L0:in solicitations and contracts when contract performance will be in the United Kingdom.

L1:(g) Insert the clause at 252.229-7007, Verification of United States Receipt of Goods,
L0:in solicitations and contracts when contract performance will be in the United Kingdom.

L1:(h) Insert the clause at 252.229-7008, Relief from Import Duty (United Kingdom), in
L0:solicitations issued and contracts awarded in the United Kingdom.

L1:(i) Insert the clause at 252.229-7009, Relief from Customs Duty and Value Added

L0:Tax on Fuel (Passenger Vehicles) (United Kingdom), in solicitations issued and
L0:contracts awarded in the United Kingdom for fuels (gasoline or diesel) and lubricants
L0:used in passenger vehicles (excluding taxis).
L1:(j) Insert the clause at 252.229-7010, Relief from Customs Duty on Fuel (United
L0:Kingdom), in solicitations issued and contracts awarded in the United Kingdom that
L0:require the use of fuels (gasoline or diesel) and lubricants in taxis or vehicles other than
L0:passenger vehicles.
L1:(k) Insert the clause at 252.229-7014, Full Exemption from Two-Percent Excise Tax
L0:on Certain Foreign Procurements, in contracts that include the clause at FAR 52.229-
L0:12, Tax on Certain Foreign Procurements, when the contractor has?
L1:(1) Represented that it is a foreign person in response to the provision at FAR
L0:52.229-11, Tax on Certain Foreign Procurements?Notice and Representation; and
L1:(2) Indicated that it is fully exempt from the tax for reasons cited on their IRS
L0:Form W-14, Certificate of Foreign Contracting Party Receiving Federal Procurement
L0:Payments.

252.229-7000 Reserved

Status: active

L0:252.229-7000 Reserved.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 29
L0:Defense FAR Supplement (DFARS) Part 229

252.229-7001 Tax Relief

Status: active

L0:252.229-7001 Tax Relief.
L0:Basic. As prescribed in 229.402-70(a) and (a)(1), use the following clause:
L0:TAX RELIEF?BASIC (APR 2020)
L1:(a) Prices set forth in this contract are exclusive of all taxes and duties from which
L0:the United States Government is exempt by virtue of tax agreements between the
L0:United States Government and the Contractor?s government. The following taxes or
L0:duties have been excluded from the contract price:
L0:NAME OF TAX: (Offeror insert) RATE (PERCENTAGE): (Offeror insert)
L1:(b) Invoices submitted in accordance with the terms and conditions of this contract
L0:shall be exclusive of all taxes or duties for which relief is available. The Contractor?s
L0:invoice shall list separately the gross price, amount of tax deducted, and net price
L0:charged.
L1:(c) When items manufactured to United States Government specifications are being
L0:acquired, the Contractor shall identify the materials or components intended to be
L0:imported in order to ensure that relief from import duties is obtained. If the Contractor
L0:intends to use imported products from inventories on hand, the price of which includes
L0:a factor for import duties, the Contractor shall ensure the United States Government?s

L0:exemption from these taxes. The Contractor may obtain a refund of the import duties
L0:from its government or request the duty-free import of an amount of supplies or
L0:components corresponding to that used from inventory for this contract.

L0:(End of clause)

L0:Alternate I. As prescribed in 229.402-70(a) and (a)(2), use the following clause,

L0:which adds a paragraph (d) not included in the basic clause:

L0:TAX RELIEF?ALTERNATE I (APR 2020)

L1:(a) Prices set forth in this contract are exclusive of all taxes and duties from which

L0:the United States Government is exempt by virtue of tax agreements between the

L0:United States Government and the Contractor?s government. The following taxes or

L0:duties have been excluded from the contract price:

L0:NAME OF TAX: [Offeror insert] RATE (PERCENTAGE): [Offeror insert]

L1:(b) Invoices submitted in accordance with the terms and conditions of this contract

L0:shall be exclusive of all taxes or duties for which relief is available. The Contractor?s

L0:invoice shall list separately the gross price, amount of tax deducted, and net price

L0:charged.

L1:(c) When items manufactured to United States Government specifications are being

L0:acquired, the Contractor shall identify the materials or components intended to be

L0:imported in order to ensure that relief from import duties is obtained. If the Contractor

L0:intends to use imported products from inventories on hand, the price of which includes

L0:a factor for import duties, the Contractor shall ensure the United States Government?s

L0:exemption from these taxes. The Contractor may obtain a refund of the import duties

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 29

L0:Defense FAR Supplement (DFARS) Part 229

L0:from its government or request the duty-free import of an amount of supplies or

L0:components corresponding to that used from inventory for this contract.

L1:(d) Tax relief will be claimed in Germany pursuant to the provisions of the

L0:Agreement Between the United States of America and Germany Concerning Tax Relief

L0:to be Accorded by Germany to United States Expenditures in the Interest of Common

L0:Defense. The Contractor shall use Abwicklungsschein fuer abgabenbeguenstigte

L0:Lieferungen/Leistungen nach dem Offshore Steuerabkommen (Performance Certificate

L0:for Tax-Free Deliveries/Performance according to the Offshore Tax Relief Agreement) or

L0:other documentary evidence acceptable to the German tax authorities. All purchases

L0:made and paid for on a tax-free basis during a 30-day period may be accumulated,

L0:totaled, and reported as tax-free.

L0:(End of clause)

252.229-7002 Customs Exemptions (Germany)

Status: active

L0:252.229-7002 Customs Exemptions (Germany).

L0:As prescribed in 229.402-70(b), use the following clause:

L0:CUSTOMS EXEMPTIONS (GERMANY) (JUN 1997)

L0:Imported products required for the direct benefit of the United States Forces are

L0:authorized to be acquired duty-free by the Contractor in accordance with the provisions
L0:of the Agreement Between the United States of America and Germany Concerning Tax
L0:Relief to be Accorded by Germany to United States Expenditures in the Interest of
L0:Common Defense.

252.229-7003 Tax Exemptions (Italy)

Status: active

L0:252.229-7003 Tax Exemptions (Italy).

L0:As prescribed in 229.402-70(c)(1), use the following clause:

L0:(End of clause)

L0:TAX EXEMPTIONS (ITALY) (MAR 2012)

L1:(a) As the Contractor represented in its offer, the contract price, including the prices

L0:in subcontracts awarded under this contract, does not include taxes from which the

L0:United States Government is exempt.

L1:(b) The United States Government is exempt from payment of Imposta Valore

L0:Aggiunto (IVA) tax in accordance with Article 72 of the IVA implementing decree on all

L0:supplies and services sold to United States Military Commands in Italy.

L1:(1) The Contractor shall include the following information on invoices

L0:submitted to the United States Government:

L1:(i) The contract number.

L1:(ii) The IVA tax exemption claimed pursuant to Article 72 of Decree Law

L0:633, dated October 26, 1972.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 29

L0:Defense FAR Supplement (DFARS) Part 229

L1:(iii) The following fiscal code(s): [Contracting Officer must insert the

L0:applicable fiscal code(s) for military activities within Italy: 80028250241 for Army,

L0:80156020630 for Navy, or 91000190933 for Air Force].

L2:(2)(i) Upon receipt of the invoice, the paying office will include the following

L0:certification on one copy of the invoice:

L0:?"I certify that this invoice is true and correct and reflects expenditures

L0:made in Italy for the Common Defense by the United States Government

L0:pursuant to international agreements. The amount to be paid does not

L0:include the IVA tax, because this transaction is not subject to the tax in

L0:accordance with Article 72 of Decree Law 633, dated October 26, 1972.?"

L0:An authorized United States Government official will sign the copy of the invoice

L0:containing this certification.

L1:(ii) The paying office will return the certified copy together with payment to

L0:the Contractor. The payment will not include the amount of the IVA tax.

L1:(iii) The Contractor shall retain the certified copy to substantiate non-

L0:payment of the IVA tax.

L1:(3) The Contractor may address questions regarding the IVA tax to the

L0:Ministry of Finance, IVA Office, Rome (06) 520741.

L1:(c) In addition to the IVA tax, purchases by the United States Forces in Italy are

L0:exempt from the following taxes:

L1:(1) Imposta di Fabbricazione (Production Tax for Petroleum Products).

L1:(2) Imposta di Consumo (Consumption Tax for Electrical Power).

L1:(3) Dazi Doganali (Customs Duties).

L1:(4) Tassa di Sbarco e d'Imbarco sulle Merci Transportate per Via Aerea e per

L0:Via Maritima (Port Fees).

L1:(5) Tassa de Circolazione sui Veicoli (Vehicle Circulation Tax).

L1:(6) Imposta di Registro (Registration Tax).

L1:(7) Imposta di Bollo (Stamp Tax).

L0:(End of clause)

252.229-7004 Status of Contractor as a Direct Contractor (Spain)

Status: active

L0:252.229-7004 Status of Contractor as a Direct Contractor (Spain).

L0:As prescribed in 229.402-70(d), use the following clause:

L0:STATUS OF CONTRACTOR AS A DIRECT CONTRACTOR (SPAIN) (JUN 1997)

L1:(a) "Direct Contractor," as used in this clause, means an individual, company, or

L0:entity with whom an agency of the United States Department of Defense has executed a

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 29

L0:Defense FAR Supplement (DFARS) Part 229

L0:written agreement that allows duty-free import of equipment, materials, and supplies

L0:into Spain for the construction, development, maintenance, and operation of Spanish-

L0:American installations and facilities.

L1:(b) The Contractor is hereby designated as a Direct Contractor under the provisions

L0:of Complementary Agreement 5, articles 11, 14, 15, 17, and 18 of the Agreement on

L0:Friendship, Defense and Cooperation between the United States Government and

L0:the Kingdom of Spain, dated July 2, 1982. The Agreement relates to contracts to be

L0:performed in whole or part in Spain, the provisions of which are hereby incorporated

L0:into and made a part of this contract by reference.

L1:(c) The Contractor shall apply to the appropriate Spanish authorities for approval of

L0:status as a Direct Contractor in order to complete duty-free import of non-Spanish

L0:equipment, materials, and supplies represented as necessary for contract performance

L0:by the Contracting Officer. Orders for equipment, materials, and supplies placed prior

L0:to official notification of such approval shall be at the Contractor's own risk. The

L0:Contractor must submit its documentation in sufficient time to permit processing by the

L0:appropriate United States and Spanish Government agencies prior to the arrival of the

L0:equipment, materials, or supplies in Spain. Seasonal variations in processing times are

L0:common, and the Contractor should program its projects accordingly. Any delay or

L0:expense arising directly or indirectly from this process shall not excuse untimely

L0:performance (except as expressly allowed in other provisions of this contract), constitute

L0:a direct or constructive change, or otherwise provide a basis for additional compensation

L0:or adjustment of any kind.

L1:(d) To ensure that all duty-free imports are properly accounted for, exported, or

L0:disposed of, in accordance with Spanish law, the Contractor shall obtain a written bank
L0:letter of guaranty payable to the Treasurer of the United States, or such other authority
L0:as may be designated by the Contracting Officer, in the amount set forth in paragraph
L1:(g) of this clause, prior to effecting any duty-free imports for the performance of this
L0:contract.

L1:(e) If the Contractor fails to obtain the required guaranty, the Contractor agrees
L0:that the Contracting Officer may withhold a portion of the contract payments in order
L0:to establish a fund in the amount set forth in paragraph (g) of this clause. The fund
L0:shall be used for the payment of import taxes in the event that the Contractor fails to
L0:properly account for, export, or dispose of equipment, materials, or supplies imported on
L0:a duty-free basis.

L1:(f) The amount of the bank letter of guaranty or size of the fund required under
L0:paragraph (d) or (e) of this clause normally shall be 5 percent of the contract
L0:value. However, if the Contractor demonstrates to the Contracting Officer's satisfaction
L0:that the amount retained by the United States Government or guaranteed by the bank
L0:is excessive, the amount shall be reduced to an amount commensurate with contingent
L0:import tax and duty-free liability. This bank guaranty or fund shall not be released to
L0:the Contractor until the Spanish General Directorate of Customs verifies the
L0:accounting, export, or disposition of the equipment, material, or supplies imported on a
L0:duty-free basis.

L1:(g) The amount required under paragraph (d), (e), or (f) of this clause is (Contracting
L0:Officer insert amount at time of contract award) .

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 29

L0:Defense FAR Supplement (DFARS) Part 229

L1:(h) The Contractor agrees to insert the provisions of this clause, including this
L0:paragraph (h), in all subcontracts.

252.229-7005 Tax Exemptions (Spain)

Status: active

L0:252.229-7005 Tax Exemptions (Spain).

L0:As prescribed in 229.402-70(e)(1), use the following clause:

L0:(End of clause)

L0:TAX EXEMPTIONS (SPAIN) (MAR 2012)

L1:(a) As the Contractor represented in its offer, the contract price, including the prices
L0:in subcontracts awarded under this contract, does not include taxes from which the
L0:United States Government is exempt.

L1:(b) In accordance with tax relief agreements between the United States
L0:Government and the Spanish Government, and because the incumbent contract arises
L0:from the activities of the United States Forces in Spain, the contract will be exempt
L0:from the following excise, luxury, and transaction taxes:

L1:(1) Derechos de Aduana (Customs Duties).

L1:(2) Impuesto de Compensacion a la Importacion (Compensation Tax on
L0:Imports).

L1:(3) Transmisiones Patrimoniales (Property Transfer Tax).
L1:(4) Impuesto Sobre el Lujo (Luxury Tax).
L1:(5) Actos Juridicos Documentados (Legal Official Transactions).
L1:(6) Impuesto Sobre el Trafico de Empresas (Business Trade Tax).
L1:(7) Impuestos Especiales de Fabricacion (Special Products Tax).
L1:(8) Impuesto Sobre el Petroleo y Derivados (Tax on Petroleum and its By-
L0:Products).
L1:(9) Impuesto Sobre el Uso de Telefona (Telephone Tax).
L1:(10) Impuesto General Sobre la Renta de Sociedades y demas Entidades
L0:Juridicas (General Corporation Income Tax).
L1:(11) Impuesto Industrial (Industrial Tax).
L1:(12) Impuesto de Rentas Sobre el Capital (Capital Gains Tax).
L1:(13) Plus Vailia (Increase on Real Property).
L1:(14) Contribucion Territorial Urbana (Metropolitan Real Estate Tax).
L1:(15) Contribucion Territorial Rustica y Pecuaria (Farmland Real Estate Tax).
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 29
L0:Defense FAR Supplement (DFARS) Part 229
L1:(16) Impuestos de la Diputacion (County Service Charges).
L1:(17) Impuestos Municipal y Tasas Parafiscales (Municipal Tax and Charges).
L0:(End of clause)

252.229-7006 Value Added Tax Exclusion (United Kingdom)

Status: active

L0:252.229-7006 Value Added Tax Exclusion (United Kingdom)
L0:As prescribed in 229.402-70(f), use the follow clause:
L0:VALUE ADDED TAX EXCLUSION (UNITED KINGDOM) (DEC 2011)
L0:The supplies or services identified in this contract are to be delivered at a price
L0:exclusive of value added tax under arrangements between the appropriate United
L0:States authorities and Her Majesty?s Revenue and Customs (HMRC Reference Notice
L0:431, entitled Relief from Customs Duty and/or Value Added Tax on United States
L0:Government Expenditures in the United Kingdom). By executing this contract, the
L0:Contracting Officer certifies that these supplies or services are being purchased for
L0:United States Government official purposes only.

252.229-7007 Verification of United States Receipt of Goods

Status: active

L0:252.229-7007 Verification of United States Receipt of Goods.
L0:As prescribed in 229.402-70(g), use the following clause:
L0:(End of clause)
L0:VERIFICATION OF UNITED STATES RECEIPT OF GOODS (JUN 1997)
L0:The Contractor shall insert the following statement on all Material Inspection and

L0:Receiving Reports (DD Form 250 series) for Contracting Officer approval:

L0:?I certify that the items listed on this invoice have been received by the United States.?

252.229-7008 Relief from Import Duty (United Kingdom)

Status: active

L0:252.229-7008 Relief from Import Duty (United Kingdom).

L0:As prescribed in 229.402-70(h), use the following clause:

L0:(End of clause)

L0:RELIEF FROM IMPORT DUTY (UNITED KINGDOM) (DEC 2011)

L0:Any import dutiable articles, components, or raw materials supplied to the United

L0:States Government under this contract shall be exclusive of any United Kingdom

L0:import duties. Any imported items supplied for which import duty already has been

L0:paid will be supplied at a price exclusive of the amount of import duty paid. The

L0:Contractor is advised to contact Her Majesty?s Revenue and Customs to obtain a refund

L0:upon completion of the contract (Reference HMRC Notice No. 431, entitled ?Relief from

L0:Customs Duty and/or Value Added Tax on United States Government Expenditures in

L0:the United Kingdom?).

252.229-7009 Relief from Customs Duty and Value Added Tax on Fuel

Status: active

L0:252.229-7009 Relief from Customs Duty and Value Added Tax on Fuel

L0:(Passenger Vehicles) (United Kingdom).

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 29

L0:Defense FAR Supplement (DFARS) Part 229

L0:As prescribed in 229.402-70(i), use the following clause:

L0:RELIEF FROM CUSTOMS DUTY AND VALUE ADDED TAX ON FUEL

L0:(PASSENGER VEHICLES) (UNITED KINGDOM) (JUN 1997)

L1:(a) Pursuant to an agreement between the United States Government and Her

L0:Majesty?s (HM) Customs and Excise, fuels and lubricants used by passenger vehicles

L0:(except taxis) in the performance of this contract will be exempt from customs duty and

L0:value added tax. Therefore, the procedures outlined in HM Customs and Excise Notice

L0:No. 431B, August 1982, and any amendment thereto, shall be used to obtain relief from

L0:both customs duty and value added tax for fuel used under the contract. These

L0:procedures shall apply to both loaded and unloaded miles. The unit prices shall be

L0:based on the recoupment by the Contractor of customs duty in accordance with the

L0:following allowances:

L1:(1) Vehicles (except taxis) with a seating capacity of less than 29, one gallon for

L0:every 27 miles.

L1:(2) Vehicles with a seating capacity of 29-53, one gallon for every 13 miles.

L1:(3) Vehicles with a seating capacity of 54 or more, one gallon for every

L0:10 miles.

L1:(b) In the event the mileage of any route is increased or decreased within 10

L0:percent, resulting in no change in route price, the customs duty shall be reclaimed from

L0:HM Customs and Excise on actual mileage performed.

L0:(End of clause)

252.229-7010 Relief from Customs Duty on Fuel (United Kingdom)

Status: active

L0:252.229-7010 Relief from Customs Duty on Fuel (United Kingdom).

L0:As prescribed in 229.402-70(j), use the following clause:

L0:RELIEF FROM CUSTOMS DUTY ON FUEL (UNITED KINGDOM) (JUN 1997)

L1:(a) Pursuant to an agreement between the United States Government and Her

L0:Majesty's (HM) Customs and Excise, it is possible to obtain relief from customs duty on

L0:fuels and lubricants used in support of certain contracts. If vehicle fuels and lubricants

L0:are used in support of this contract, the Contractor shall seek relief from customs duty

L0:in accordance with HM Customs Notice No. 431, February 1973, entitled "Relief from

L0:Customs Duty and/or Value Added Tax on United States Government Expenditures in

L0:the United Kingdom." Application should be sent to the Contractor's local Customs and

L0:Excise Office.

L1:(b) Specific information should be included in the request for tax relief, such as the

L0:number of vehicles involved, types of vehicles, rating of vehicles, fuel consumption,

L0:estimated mileage per contract period, and any other information that will assist HM

L0:Customs and Excise in determining the amount of relief to be granted.

L1:(c) Within 30 days after the award of this contract, the Contractor shall provide the

L0:Contracting Officer with evidence that an attempt to obtain such relief has been

L0:initiated. In the event the Contractor does not attempt to obtain relief within the time

L0:specified, the Contracting Officer may deduct from the contract price the amount of

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 29

L0:Defense FAR Supplement (DFARS) Part 229

L0:relief that would have been allowed if HM Customs and Excise had favorably

L0:considered the request for relief.

L1:(d) The amount of any rebate granted by HM Customs and Excise shall be paid in

L0:full to the United States Government. Checks shall be made payable to the Treasurer

L0:of the United States and forwarded to the Administrative Contracting Officer.

L0:(End of clause)

252.229-7011 Reporting of Foreign Taxes - U.S. Assistance Programs

Status: active

L0:252.229-7011 Reporting of Foreign Taxes - U.S. Assistance Programs.

L0:As prescribed in 229.170-4, use the following clause:

L0:REPORTING OF FOREIGN TAXES - U.S. ASSISTANCE PROGRAMS (SEP 2005)

L1:(a) Definition. ?Commodities,? as used in this clause, means any materials, articles, L0:supplies, goods, or equipment.

L1:(b) Commodities acquired under this contract shall be exempt from all value added L0:taxes and customs duties imposed by the recipient country. This exemption is in L0:addition to any other tax exemption provided through separate agreements or other L0:means.

L1:(c) The Contractor shall inform the foreign government of the tax exemption, as L0:documented in the Letter of Offer and Acceptance, country-to-country agreement, or L0:interagency agreement.

L1:(d) If the foreign government or entity nevertheless imposes taxes, the Contractor L0:shall promptly notify the Contracting Officer and shall provide documentation showing L0:that the foreign government was apprised of the tax exemption in accordance with L0:paragraph (c) of this clause.

L1:(e) The Contractor shall insert the substance of this clause, including this L0:paragraph (e), in all subcontracts for commodities that exceed \$500.
L0:(End of clause)

252.229-7012 Tax Exemptions (Italy)?Representation

Status: active

L0:252.229-7012 Tax Exemptions (Italy)?Representation.

L0:As prescribed in 229.402-70(c)(2), use the following provision:

L0:TAX EXEMPTIONS (ITALY)?REPRESENTATION (MAR 2012)

L1:(a) Exemptions. The United States Government is exempt from payment of?

L1:(1) Imposta Valore Aggiunto (IVA) tax in accordance with Article 72 of the IVA L0:implementing decree on all supplies and services sold to United States Military L0:Commands in Italy; and

L1:(2) The other taxes specified in paragraph (c) of the clause DFARS 252.229- L0:7003, Tax Exemptions (Italy).

L1:(b) Representation. By submission of its offer, the offeror represents that the offered L0:price, including the prices of subcontracts to be awarded under the contract, does not L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 29 L0:Defense FAR Supplement (DFARS) Part 229 L0:include the taxes identified herein, or any other taxes from which the United States L0:Government is exempt.
L0:(End of provision)

252.229-7013 Tax Exemptions (Spain)?Representation

Status: active

L0:252.229-7013 Tax Exemptions (Spain)?Representation.

L0:As prescribed in 229.402-70(e)(2), use the following provision:

L0:TAX EXEMPTIONS (SPAIN)?REPRESENTATION (APR 2012)

L1:(a) Exemptions. In accordance with tax relief agreements between the United States Government and the Spanish Government, and because the resultant contract arises from the activities of the United States Forces in Spain, the contract will be exempt from the excise, luxury, and transaction taxes listed in paragraph (b) of the clause DFARS 252.229-7005, Tax Exemptions (Spain).

L1:(b) Representation. By submission of its offer, the offeror represents that the offered price, including the prices of subcontracts to be awarded under the contract, does not include the taxes identified herein, or any other taxes from which the United States Government is exempt.

L0:(End of provision)

252.229-7014 Full Exemption from Two-Percent Excise Tax on Certain

Status: active

L0:252.229-7014 Full Exemption from Two-Percent Excise Tax on Certain Foreign Procurements.

L0:As prescribed in 229.402-70(k), use the following clause:

L0:FULL EXEMPTION FROM TWO-PERCENT EXCISE TAX ON CERTAIN FOREIGN PROCUREMENTS (OCT 2022)

L1:(a) As the Contractor represented in its offer, any item, including any item delivered under subcontract; any service; or any combination thereof delivered under this contract is fully exempt from the 2-percent excise tax withholding imposed by 26 U.S.C. 5000C and implemented by Federal Acquisition Regulation (FAR) 52.229-12, Tax on Certain Foreign Procurements.

L1:(b) If the full exemption no longer applies due to a change in circumstances during the performance of the contract, causing the Contractor to become subject to the withholding for the 2-percent excise tax as imposed by 26 U.S.C. 5000C, then the Contractor shall immediately comply with the notification and billing requirements of FAR clause 52.229-12.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 29
L0:Defense FAR Supplement (DFARS) Part 229

L0:PGI 229?TAXES

L0:PGI 229.1?GENERAL

L0:PGI 229.101-70 Resolving tax problems.

L1:(a) For the military departments, the Defense Logistics Agency, and the Defense Contract Management Agency, the members of the DFARS Tax Committee are the designated legal counsel for tax matters within their respective departments/agencies.

L1:(b) Information on fuel excise taxes, including applicability, exemptions, and refunds, is available as follows:

L1:(i) The DLA Energy website at <https://www.dla.mil/Energy/> provides information on Federal, State, and local excise taxes.

L1:(ii) Internal Revenue Service Publications 510 and 378, available on the Internal Revenue Service website at www.irs.gov/publications, provides information on Federal

L0:excise taxes.

L1:(c) The contracting officer may direct the contractor to litigate the applicability of a
L0:particular tax if?

L1:(i) The contract is either a cost-reimbursement type or a fixed-price type with a tax
L0:escalation clause such as FAR 52.229-4; and

L1:(ii) The direction is coordinated with the DoD Tax Policy and Advisory Group
L0:through the agency-designated legal counsel.

L2:(d)(i) Tax relief agreements between the United States and foreign governments in
L0:Europe that exempt the United States from payment of specific taxes on purchases made
L0:for common defense purposes are maintained by the United States European Command
L1:(USEUCOM). For further information, contact HQ USEUCOM, ATTN: ECLA, Unit 30400,
L0:Box 1000, APO AE 09128; Telephone: DSN 430-8001/7263, Commercial 49-0711-680-
L0:8001/7263; facsimile: 49-0711-680-5732.

L1:(ii) Other international treaties may exempt the United States from the payment of
L0:specific taxes. The Department of State publishes a list of treaties on its website at
L0:www.state.gov.

L1:(iii) Tax relief also may be available in countries that have not signed tax relief
L0:agreements. The potential for such relief should be explored in accordance with paragraph
L2:(d)(iv) of this section.

L1:(iv) DoD Instruction (DoDI) 5100.64, DoD Foreign Tax Relief Program, defines DoD
L0:tax relief policy and requires designation of a military commander as the single point of
L0:contact for investigation and resolution of specific matters related to the foreign tax relief
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 29
L0:Defense FAR Supplement (DFARS) Part 229
L0:program within the country for which the commander is designated. Those military
L0:commanders are the same as the ones designated under DoDI 5525.01 Foreign Criminal
L0:and Civil Jurisdiction, and specified in Appendix C of Army Regulation 27-50/SECNAVINST
L0:5820.4G, Status of Forces Policies, Procedures, and Information. Appendix C of Army
L0:Regulation 27-50/SECNAVINST 5820.4G is available at
L0:https://armypubs.army.mil/epubs/DR_pubs/DR_a/pdf/web/r27_50.pdf.

L1:(v) Also see PGI 229.70 for special procedures for obtaining tax relief and duty-free
L0:import privileges when conducting U.S. Government acquisitions in certain foreign countries.
L0:PGI 229.170 Reporting of foreign taxation on U.S. assistance programs.
L0:PGI 229.170-3 Reports.

L1:(1) Upon receipt of a notification under the clause at DFARS 252.229-7011, that a
L0:foreign tax has been imposed, submit the following information to the applicable office
L0:identified in paragraph (2) of this subsection.

L1:(i) Contractor name.

L1:(ii) Contract number.

L1:(iii) Contractor point of contact (Name, phone number, FAX number, and e-mail
L0:address).

L1:(iv) Amount of foreign taxes assessed by each foreign government.

L1:(v) Amount of any foreign taxes reimbursed by each foreign government.

L1:(2) Submit the information required by paragraph (1) of this subsection to?

L1:(i) For Army contracts:

L0:Commander, U.S. Army Security Assistance Command (USASAC)

L0:4402 Martin Road

L0:Redstone Arsenal, AL 35898.

L1:(ii) For Navy contracts:

L0:Navy International Programs Office (NIPO)

L0:1250 10th Street South East

L0:Building 200, Suite 2000

L0:Washington Navy Yard, D.C. 20374.

L1:(iii) For Air Force contracts:

L0:Secretary of the Air Force/International Affairs

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 29

L0:Defense FAR Supplement (DFARS) Part 229

L0:ATTN: SAF/IAPC

L0:1080 Air Force, Pentagon

L0:Washington, DC 20330-1080.

L1:(iv) For Marine Corps contracts:

L0:Navy International Programs Office (NIPO)

L0:1250 10th Street South East

L0:Building 200, Suite 2000

L0:Washington Navy Yard, D.C. 20374.

L1:(v) For all other DoD contracts:

L0:Defense Security Cooperation Agency

L0:ATTN: DBO-CFD

L0:201 12th Street South, Suite 203

L0:Arlington, VA 22202-5408.

L0:PGI 229.70--SPECIAL PROCEDURES FOR OVERSEAS CONTRACTS

L0:PGI 229.7000 Scope of subpart.

L0:This subpart prescribes procedures that contracting officers must use to obtain tax relief and

L0:duty-free import privileges when conducting U.S. Government acquisitions in certain foreign

L0:countries.

L0:PGI 229.7001 Tax exemption in Spain.

L1:(a) The Office of Defense Cooperation (ODC), Spain Policy Directive 400.4, or

L0:subsequent directive, applies to U.S. contracting offices acquiring supplies or services in

L0:Spain when the introduction of material or equipment into Spain is required for contract

L0:performance.

L1:(b) Upon award of a contract with a Direct Contractor, as defined in the clause at

L0:DFARS 252.229-7004, the contracting officer will notify U.S. Section of the U.S.-Spanish

L0:Permanent Committee (PC), Madrid, Spain, and the Customs Clearance Officer, NAVSUP-

L0:FLC Rota, Spain, and will forward a copy of the contract to the U.S. PC Section, Madrid.

L1:(c) If a copy of the contract is not available and duty-free import of equipment or

L0:materials is urgent, the contracting officer will forward to the U.S. PC Section, Madrid, a

L0:Letter of Intent or a similar document indicating the pending award. In these cases, the

L0:Government of Spain may issue authorization for duty-free import. Upon formal award, the

L0:contracting officer will the completed contract to the U.S. PC Section, Madrid.

L1:(d) The contracting officer will notify the U.S. PC Section, Madrid and the Customs
L0:Clearance Officer, NAVSUP-FLC Rota, Spain of designated ports-of-entry and identify the
L0:customs agents who will clear property on their behalf. Additional documentation required
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 29
L0:Defense FAR Supplement (DFARS) Part 229
L0:for port-of-entry and customs clearance can be obtained by Customs Clearance Officer,
L0:NAVSUP-FLC Rota, Spain. This information will be passed provided to the Secretaria
L0:General Tecnica del Ministerio de Hacienda (Technical General Secretariat of the Ministry of
L0:Finance). A list of authorized customs agents may be obtained from the contracting office.
L0:PGI 229.7002 Tax exemption in the United Kingdom.
L0:This section contains procedures for securing relief from the British value added tax and
L0:import duties.
L0:PGI 229.7002-1 Value added tax.
L1:(a) U.S. Government purchases qualifying for tax relief are equipment, materials,
L0:facilities, and services for the common defense effort and for foreign aid programs.
L1:(b) To facilitate the resolution of issues concerning specific waivers of import duty or tax
L0:exemption for U.S. Government purchases (see PGI 229.7002-3), contracting offices must
L0:provide the name and activity address of personnel who have been granted warranted
L0:contracting authority to His Majesty's (HM) Revenue and Customs (HMRC) at the following
L0:address: HM Revenue and Customs Parliament Street 100, London SW1A 2BQ].
L0:PGI 229.7002-2 Import duty.
L0:The United States shall not pay a contract import duty and contract prices must be exclusive
L0:of duty, except when the administrative cost compared to the low dollar value of a contract
L0:makes it impracticable to obtain relief from contract import duty. In this instance, the
L0:contracting officer must document the contract file with a statement that?
L1:(a) The administrative burden of securing tax relief under the contract was out of
L0:proportion to the tax relief involved;
L1:(b) It is impracticable to secure tax relief;
L1:(c) Tax relief is therefore not being secured; and
L1:(d) The acquisition does not involve the expenditure of any funds to establish a
L0:permanent military installation.
L0:PGI 229.7002-3 Value added tax or import duty problem resolution.
L0:If the contracting officer cannot resolve a value added tax or import duty problem, refer the
L0:issue to HQ Third Air Force, Staff Judge Advocate, 3af.ja@us.af.mil, DSN: 314-480-8992.
L0:Direct contact with HMRC in London is prohibited.
L0:PGI 229.7002-4 Information required by His Majesty's Revenue and Customs.
L1:(a) School bus contracts. Provide one copy of the contract and all modifications HMRC.
L1:(b) Road fuel contracts. For contracts that involve an application for relief from duty on
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 29
L0:Defense FAR Supplement (DFARS) Part 229
L0:the road fuel used in performance of the contract, provide?
L1:(1) To HMRC?
L1:(i) Contract number;
L1:(ii) Name and address of contractor;
L1:(iii) Type of work (e.g., laundry, transportation);

L1:(iv) Area of work; and

L1:(v) Period of performance.

L1:(2) To the regional office of HMRC to which the contractor applied for relief from the

L0:duty on road fuel?one copy of the contract.

L1:(c) Other contracts awarded to United Kingdom firms. Provide information when

L0:requested by HMRC.

PART 30

SUBPART 230.2 ? PRESOLICITATION

Status: active

L0:SUBPART 230.2?PRESOLICITATION

230.202 Waiver

Status: active

L0:230.202 Waiver.

L3:(a)(1)(A) The military departments and the Principal Director, Defense Pricing, Contracting, and Acquisition Policy (DPCAP), Office of the Under Secretary of Defense (Acquisition and Sustainment)?

L1:(1) May grant CAS waivers that meet the conditions in FAR

L0:30.202(b)(1); and

L1:(2) May grant CAS waivers that meet the conditions in FAR

L0:30.202(b)(2), provided the cognizant Federal agency official granting the waiver

L0:determines that?

L1:(i) The property or services cannot reasonably be obtained under

L0:the contract, subcontract, or modification, as applicable, without granting the

L0:waiver;

L0:without the application of the Cost Accounting Standards; and

L1:(ii) The price can be determined to be fair and reasonable

L1:(iii) There are demonstrated benefits to granting the waiver.

L1:(B) Follow the procedures at PGI 230.202(a)(1) for submitting waiver

L0:requests to the Principal Director, DPCAP.

L1:(2) The military departments shall not delegate CAS waiver authority below

L0:the individual responsible for issuing contracting policy for the department.

L1:(e) By November 30th of each year, the military departments must provide a report

L0:to the Office of the Principal Director, DPCAP (Contract Policy) of all waivers

L0:granted under FAR 30.202(a), during the previous fiscal year, for any contract,

L0:subcontract, or modification expected to have a value of \$100 million or more. See

L0:PGI 230.202(e) for format and required content. The Principal Director, DPCAP,

L0:will submit a consolidated report to the CAS Board and the congressional defense

L0:committees.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 30

L0:Defense FAR Supplement (DFARS) Part 230

PART 31

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

231.100 Scope of subpart

Status: active

L0:231.100 Scope of subpart.

231.100-70 Contract clause

Status: active

L0:231.100-70 Contract clause.

L0:Use the clause at 252.231-7000, Supplemental Cost Principles, in all solicitations and

L0:contracts, which are subject to the principles and procedures described in FAR Subparts

L0:31.1, 31.2, 31.6, and 31.7.

231.205 Selected costs

Status: active

L0:231.205 Selected costs.

231.205-1 Public relations and advertising costs

Status: active

L0:231.205-1 Public relations and advertising costs.

L1:(e) For foreign military sales contracts, see 225.7303-2(e) for allowable costs.

L1:(f) Unallowable public relations and advertising costs include the following:

L1:(1) Payment to the Government associated with the leasing of Government

L0:equipment, including lease payments and reimbursements for support services, except

L0:for foreign military sales contracts (see 225.7303-2).

231.205-6 Compensation for personal services

Status: active

L0:231.205-6 Compensation for personal services.

L2:(f)(1) Bonuses and extra payments paid by the contractor to an employee related to

L0:restructuring after a business combination are not allowed costs on DoD contracts if

L0:paid with funds from fiscal year 1996 appropriations or later (Section 8122 of Pub. L.

L0:104-61, and similar sections in subsequent Defense appropriations acts). This

L0:limitation does not apply to severance payments or early retirement incentive

L0:payments. (?Business combination? and ?restructuring costs? are defined at 231.205-

L0:70(b).)

L2:(m)(1) Fringe benefit costs that violate laws, employer-employee agreements, or

L0:contractor established policy are unallowable.

231.205-18 Independent research and development and bid and proposal

Status: active

L0:231.205-18 Independent research and development and bid and proposal

L0:costs.

L1:(a) Definitions. As used in this section?

L0:?"Covered contract?" means a DoD prime contract or subcontract above the simplified

L0:acquisition threshold, except for a fixed-price contract without cost incentives or a fixed-

L0:price subcontract without cost incentives under such a prime contract.

L0:?"Covered segment?" means?

L1:(1) A product division of the contractor that allocated more than \$1,100,000 in

L0:independent research and development (IR&D) costs and bid and proposal (B&P)

L0:costs to covered contracts during the preceding fiscal year;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 31

L0:Defense FAR Supplement (DFARS) Part 231

L1:(2) The contractor as a whole if the contractor has no product divisions; or

L1:(3) A product division of the contractor that allocated less than \$1,100,000 in IR&D

L0:costs and B&P costs to covered contracts during the preceding fiscal year and is not

L0:subject to the limitations in paragraph (c) of this section.

L0:?"Major contractor?" means any contractor whose covered segments allocated a total of

L0:more than \$11 million in IR&D costs and B&P costs to covered contracts during the

L0:preceding fiscal year. For purposes of calculating the dollar threshold amounts to

L0:determine whether a contractor meets the definition of ?major contractor,? do not

L0:include contractor segments allocating less than \$1,100,000 of IR&D and B&P costs to

L0:covered contracts during the preceding fiscal year.

L1:(c) Allowability.

L1:(i) This regulation shall not be supplemented in any way that limits IR&D cost

L0:allowability and B&P cost allowability.

L1:(ii) For foreign military sales contracts, see 225.7303-2(c) for allowable costs.

L2:(iii)(A) For IR&D costs incurred on covered contracts to be allowable, a major

L0:contractor is required to?

L1:(1) Report IR&D projects generating the IR&D costs to the Defense

L0:Technical Information Center (DTIC) using the online input form and instructions at

L0:<https://defenseinnovationmarketplace.dtic.mil/industry-portal/>; and

L0:end of the contractor?s fiscal year, and when the project is completed.

L1:(2) Update its DTIC inputs at least annually, within 3 months after the

L1:(B) The amount of IR&D costs allowable under DoD contracts is limited to
L0:the lesser of?
L0:or
L1:(1) The allocable share of total incurred IR&D costs on such contracts;
L1:(2) The amount of incurred IR&D costs the contractor?s chief executive
L0:officer determines will advance DoD?s future technology and advanced capability as
L0:communicated in accordance with 242.771-3(c)(1)(i).
L1:(C) For DTIC input by contractors that are not major contractors, see
L0:procedures at PGI 231.205-18(c)(iii)(C).
L1:(iv) Contractors are required to report incurred IR&D costs separately from
L0:indirect costs.
L1:(v) Contractors are required to report incurred B&P costs separately from other
L0:indirect costs.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 31
L0:Defense FAR Supplement (DFARS) Part 231

231.205-19 Insurance and indemnification

Status: active

L0:231.205-19 Insurance and indemnification.
L1:(e) In addition to the cost limitations in FAR 31.205-19(e), self-insurance and
L0:purchased insurance costs are subject to the requirements of the clauses at 252.217-
L0:7012, Liability and Insurance, and 252.228-7001, Ground and Flight Risk.

231.205-22 Lobbying and political activity costs

Status: active

L0:231.205-22 Lobbying and political activity costs.
L1:(a) Costs associated with preparing any material, report, list, or analysis on the
L0:actual or projected economic or employment impact in a particular State or
L0:congressional district of an acquisition program are allowable if all research,
L0:development, testing, and evaluation has not been completed (10 U.S.C. 4652).

231.205-70 External restructuring costs

Status: active

L0:231.205-70 External restructuring costs.
L1:(a) Scope. This subsection contains policies and procedures for allowing contractor
L0:external restructuring costs when savings would result for DoD and implements 10
L0:U.S.C. 3761.
L1:(b) Definitions. As used in this section--
L0:?"Business combination?" means a transaction whereby assets or operations of
L0:two or more companies not previously under common ownership or control are

L0:combined, whether by merger, acquisition, or sale/purchase of assets.

L0:External restructuring activities? means restructuring activities occurring

L0:after a business combination, affecting the operations of companies not previously

L0:under common ownership or control. They exclude restructuring within a single

L0:company or only affecting one company from the combination. External restructuring

L0:activities are a direct outgrowth of a business combination and normally occur within 3

L0:years of the business combination.

L0:Restructuring activities? means nonroutine, nonrecurring, or extraordinary

L0:activities to combine facilities, operations, or workforce, to eliminate redundant

L0:capabilities, improve future operations, and reduce overall costs. Restructuring

L0:activities exclude routine or ongoing repositionings and redeployments of a contractor's

L0:productive facilities or workforce (e.g., normal plant rearrangement or employee

L0:relocation), and exclude other routine or ordinary activities charged as indirect costs

L0:that would otherwise have been incurred (e.g., planning and analysis, contract

L0:administration and oversight, or recurring financial and administrative support).

L0:Restructuring costs? means both direct and indirect costs of restructuring

L0:activities. Allowable restructuring costs include, but are not limited to, severance pay

L0:for employees, early retirement incentive payments for employees, employee retraining

L0:costs, relocation expense for retained employees, and relocation and rearrangement of

L0:plant and equipment. For purposes of this definition, restructuring costs under \$2.5

L0:million related to external restructuring activities allocated to DoD contracts are not

L0:subject to the audit, review, and determination requirements of paragraph (c)(4) of this

L0:subsection; instead, standard cost allowability rules in FAR Part 31 apply.

L0:Restructuring savings? means both direct and indirect cost reductions

L0:resulting from restructuring activities. Cost reassignments to future periods are not

L0:restructuring savings.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 31

L0:Defense FAR Supplement (DFARS) Part 231

L1:(c) Limitations on cost allowability. Restructuring costs associated with external

L0:restructuring activities are not allowed unless?

L1:(1) The costs are allowable in accordance with FAR Part 31 and DFARS Part

L0:231;

L1:(2) An audit of projected restructuring costs and restructuring savings is

L0:performed;

L1:(3) The administrative contracting officer (ACO) reviews the audit report,

L0:projected costs, and projected savings, then negotiates an advance agreement per

L0:paragraph (d) of this subsection; and

L2:(4)(i) The official designated in paragraph (c)(4)(ii) of this subsection makes a

L0:written determination that the audited projected savings, on a present value basis, for

L0:DoD resulting from the restructuring will exceed either?

L1:(A) The costs allowed by a factor of at least two to one; or

L0:preservation of a critical capability that DoD might otherwise lose.

L1:(B) The costs allowed, and the business combination will result in the

L2:(ii)(A) If the amount of restructuring costs is expected to exceed \$25 million

L0:over a 5-year period, the designated official is the Under Secretary of Defense

L0:(Acquisition and Sustainment) or the Principal Deputy. This authority cannot be
L0:delegated below the Assistant Secretary of Defense level.
L0:is the Director of the Defense Contract Management Agency.
L1:(B) For all other cases, on a nondelegable basis, the designated official
L1:(d) Procedures and ACO responsibilities. As soon as it is known that the contractor
L0:will incur restructuring costs for external restructuring activities, the ACO shall follow
L0:the procedures at PGI 231.205-70(d).
L1:(e) Information needed to obtain a determination.
L1:(1) The novation agreement (if one is required).
L1:(2) The contractor?s restructuring proposal.
L1:(3) The proposed advance agreement.
L1:(4) The audit report.
L1:(5) Any other pertinent information.
L1:(6) The ACO?s recommendation for a determination. This recommendation
L0:must clearly indicate one of the following, consistent with paragraph (c)(4)(i) of this
L0:subsection:
L1:(i) The audited projected savings for DoD will exceed the costs allowed by a
L0:factor of at least two to one on a present value basis.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 31
L0:Defense FAR Supplement (DFARS) Part 231
L1:(ii) The business combination will result in the preservation of a critical
L0:capability that might otherwise be lost to DoD, and the audited projected savings for
L0:DoD will exceed the costs allowed on a present value basis.
L1:(f) Contracting officer responsibilities.
L1:(1) The contracting officer, with the ACO?s input, should consider a repricing
L0:clause in noncompetitive fixed-price contracts negotiated during the period between?
L1:(i) The time a business combination is announced; and
L1:(ii) The time the contractor?s forward pricing rates are adjusted to reflect
L0:the impact of restructuring.
L1:(2) Use of a repricing clause depends on the specific situation, including?
L1:(i) When the restructuring will take place;
L1:(ii) When restructuring savings will begin to be realized;
L1:(iii) The contract performance period;
L1:(iv) Whether the contracting parties can reasonably estimate the
L0:restructuring impact on the contract; and
L1:(v) The size of the potential dollar impact of restructuring on the contract.
L1:(3) If the contracting officer decides to use a repricing clause, the clause must
L0:provide for a downward-only price adjustment to ensure that DoD receives its
L0:appropriate share of restructuring net savings.

231.205-71 Costs related to counterfeit electronic parts and suspect

Status: active

L0:231.205-71 Costs related to counterfeit electronic parts and suspect

L0:counterfeit electronic parts.

L1:(a) This section implements the requirements of section 818(c)(2) of Pub. L. 112-81,
L0:as modified by section 833 of Pub. L. 112-239, and section 885 of Pub. L. 114-92.

L1:(b) The costs of counterfeit electronic parts, suspect counterfeit electronic parts, and
L0:the costs of rework or corrective action that may be required to remedy the use or
L0:inclusion of such parts are unallowable, unless?

L1:(1) The contractor has an operational system to detect and avoid counterfeit
L0:electronic parts and suspect counterfeit electronic parts that has been reviewed and
L0:approved by DoD pursuant to 244.303;

L1:(2) The counterfeit electronic parts or suspect counterfeit electronic parts are
L0:Government-furnished property as defined in FAR 45.101 or were obtained by the
L0:contractor in accordance with the clause at 252.246-7008, Sources of Electronic Parts;
L0:and

L1:(3) The contractor?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 31

L0:Defense FAR Supplement (DFARS) Part 231

L1:(i) Becomes aware of the counterfeit electronic parts or suspect counterfeit
L0:electronic parts through its own or its subcontractor's inspection, testing, and
L0:authentication efforts; through a Government Industry Data Exchange Program
L1:(GIDEP) alert; or by other means; and

L1:(ii) Provides timely (i.e., within 60 days after the contractor becomes aware)
L0:written notice to?

L1:(A) The contracting officer(s); and

L1:(B) GIDEP (unless the contractor is a foreign corporation or partnership
L0:that does not have an office, place of business, or fiscal paying agent in the United
L0:States; or the counterfeit electronic part or suspect counterfeit electronic part is the
L0:subject of an on-going criminal investigation).

231.303 Requirements

Status: active

L0:231.303 Requirements.

L1:(1) Do not place limitations on the reimbursement of otherwise allowable indirect
L0:costs incurred on DoD contracts awarded to institutions of higher education on or after
L0:November 30, 1993, unless that same limitation is applied uniformly to all other
L0:organizations performing similar work under DoD contracts (section 841 of Pub. L. 103-
L0:160). DoD contracts awarded on or after November 30, 1993, to institutions of higher
L0:education are exempt from the 26 percent indirect cost limitation imposed by OMB
L0:Circular No. A-21 because the same limitation is not uniformly applied to other
L0:organizations performing similar work.

L1:(2) The administrative contracting officer can waive the 231.303(1) prohibition if the
L0:governing body of the institution of higher education requests the waiver to simplify its
L0:overall management of DoD cost reimbursements under DoD contracts. The
L0:administrative contracting officer can waive the 231.303(1) prohibition if the university

L0:requests it to simplify managing DoD cost reimbursements.
L1:(3) Under 10 U.S.C. 4652, the costs cited in 231.205-22(a) are unallowable.

231.603 Requirements

Status: active

L0:231.603 Requirements.
L0:Under 10 U.S.C. 4652, the costs cited in 231.205-22(a) are unallowable.

231.703 Requirements

Status: active

L0:231.703 Requirements.
L0:Under 10 U.S.C. 4652, the costs cited in 231.205-22(a) are unallowable.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 31
L0:Defense FAR Supplement (DFARS) Part 231

252.231-7000 Supplemental Cost Principles

Status: active

L0:252.231-7000 Supplemental Cost Principles.
L0:As prescribed in 231.100-70, use the following clause:
L0:SUPPLEMENTAL COST PRINCIPLES (DEC 1991)
L0:When the allowability of costs under this contract is determined in accordance with
L0:Part 31 of the Federal Acquisition Regulation (FAR), allowability shall also be
L0:determined in accordance with Part 231 of the Defense FAR Supplement, in effect on
L0:the date of this contract.
L0:(End of clause)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 31
L0:Defense FAR Supplement (DFARS) Part 231

L0:PGI 231?CONTRACT COST PRINCIPLES AND PROCEDURES

L0:PGI 231.2?CONTRACTS WITH COMMERCIAL ORGANIZATIONS

L0:PGI 231.205 Selected costs.
L0:PGI 231.205-18 Independent research and development and bid and proposal costs.
L3:(c)(iii)(C) To improve DoD visibility into technical content of contractor-funded IR&D
L0:projects, encourage contractors that are not major contractors to use the DTIC online input
L0:form and instructions at <https://defenseinnovationmarketplace.dtic.mil/industry-portal/>.
L0:PGI 231.205-70 External restructuring costs.
L1:(d) Procedures and ACO responsibilities. The cognizant ACO will?
L1:(i) Promptly execute a novation agreement, if one is required, in accordance with
L0:FAR Subpart 42.12 and DFARS Subpart 242.12 and include the provision at DFARS
L0:242.1204(i).
L1:(ii) Direct the contractor to segregate restructuring costs and to suspend these

L0:amounts from any billings, final contract price settlements, and overhead settlements until L0:the determination in DFARS 231.205-70(c)(4)(i) is obtained.

L1:(iii) Require the contractor to submit an overall plan of restructuring activities and an

L0:adequately supported proposal for planned restructuring projects. The proposal must

L0:include a breakout by year by cost element, showing the present value of projected

L0:restructuring costs and projected restructuring savings.

L1:(iv) Notify major buying activities of contractor restructuring actions and inform them

L0:about any potential monetary impacts on major weapons programs, when known.

L1:(v) Upon receipt of the contractor's proposal, as soon as practicable, adjust forward

L0:pricing rates to reflect the impact of projected restructuring savings. If restructuring costs are

L0:included in forward pricing rates prior to execution of an advance agreement in accordance

L0:with paragraph (d)(viii) of this subsection, the contracting officer shall include a repricing

L0:clause in each fixed-price action that is priced based on the rates. The repricing clause

L0:must provide for a downward price adjustment to remove restructuring costs if the

L0:determination required by DFARS 231.205-70(c)(4)(i) is not obtained.

L1:(vi) Upon receipt of the contractor's proposal, immediately request an audit review

L0:of the contractor's proposal.

L1:(vii) Upon receipt of the audit report, determine on a present value basis if?

L1:(A) The audited projected restructuring savings for DoD will exceed the

L0:restructuring costs allowed by a factor of at least two to one, as required by DFARS

L0:231.205-70(c)(4)(i)(A); or

L1:(B) If the audited projected restructuring savings will exceed the restructuring

L0:costs allowed in a case where the business combination will result in the preservation of a

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 31

L0:Defense FAR Supplement (DFARS) Part 231

L0:critical capability that otherwise might be lost to DoD, as required by DFARS 231.205-

L0:70(c)(4)(i)(B).

L1:(viii) Negotiate an advance agreement with the contractor setting forth, at a

L0:minimum, a cumulative cost ceiling for restructuring projects and, when necessary, a cost

L0:amortization schedule. The costs may not exceed the amount of projected restructuring

L0:savings on a present value basis. The advance agreement shall not be executed until the

L0:determination required by DFARS 231.205-70(c)(4)(i) is obtained.

L2:(ix)(A) Submit a recommendation for determination to?

L1:(1) If DFARS 231.205-70(c)(4)(ii)(A) applies, submit the recommendation to

L0:the Office of the Principal Director, Defense Pricing, Contracting, and Acquisition Policy

L0:(Price, Cost and Finance) via email at osd.pentagon.ousd-a-s.mbx.dpc-pcf@mail.mil.

L0:the Director of the Defense Contract Management Agency, ATTN: HQ DCMA-OCB.

L1:(2) If DFARS 231.205-70(c)(4)(ii)(B) applies, submit the recommendation

L1:(B) Include the information described in DFARS 231.205-70(e).

L1:(x) Consult with the Principal Director, Defense Pricing, Contracting, and Acquisition

L0:Policy or with the Director of the Defense Contract Management Agency, as appropriate,

L0:when DFARS 231.205-70(c)(4)(i)(B) applies.

PART 32

232.006 Reduction or suspension of contract payments upon finding of fraud

Status: active

L0:232.006 Reduction or suspension of contract payments upon finding of fraud.

232.006-5 Reporting

Status: active

L0:232.006-5 Reporting.

L0:Follow the procedures at PGI 232.006-5 for suspected fraud related to advance, partial,

L0:or progress payments reporting.

232.007 Contract financing payments

Status: active

L0:232.007 Contract financing payments.

L1:(a) DoD policy is to make contract financing payments as quickly as possible.

L0:Generally, the contracting officer must insert the standard due dates of 7 days for

L0:progress payments, and 14 days for performance-based payments and interim

L0:payments on cost-type contracts, in the appropriate paragraphs of the respective

L0:payment clauses. For interim payments on cost-reimbursement contracts for

L0:services, see 232.906(a)(i).

L1:(b) The contracting officer should coordinate contract financing payment terms

L0:with offices that will be involved in the payment process to ensure that specified

L0:terms can be met. Where justified, the contracting officer may insert a due date

L0:greater than, but not less than, the standard. In determining payment terms,

L0:consider?

L1:(i) Geographical separation;

L1:(ii) Workload;

L1:(iii) Contractor ability to submit a proper request; and

L1:(iv) Other factors that could affect timing of payment.

232.009 Providing accelerated payments to small business contractors and

Status: active

L0:232.009 Providing accelerated payments to small business contractors and

L0:to prime contractors that subcontract with a small business concern.

232.009-1 General

Status: active

L0:232.009-1 General.

L0:10 U.S.C. 3801(b) requires DoD to provide accelerated payments to small business
L0:contractors and subcontractors, to the fullest extent permitted by law, with a goal of
L0:15 days.

232.070 Responsibilities

Status: active

L0:232.070 Responsibilities.

L1:(a) The Principal Director, Defense Pricing, Contracting, and Acquisition Policy

L1:(DPCAP), Office of the Under Secretary of Defense (Acquisition and Sustainment)

L0:(OUSD(A&S)DPCAP) is responsible for ensuring uniform administration of DoD

L0:contract financing, including DoD contract financing policies and important related

L0:procedures. Agency discretion under FAR part 32 is at the DoD level and is not

L0:delegated to the departments and agencies. Proposals by the departments and

L0:agencies, to exercise agency discretion, must be submitted to OUSD(A&S)DPCAP.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(b) Departments and agencies are responsible for their day-to-day contract

L0:financing operations. Refer specific cases involving financing policy or important

L0:procedural issues to OUSD(A&S)DPCAP for consideration through the

L0:department/agency Contract Finance Committee members (also see subpart 201.3 for

L0:deviation request and approval procedures).

L1:(c) See PGI 232.070(c) for information on department/agency contract financing

L0:offices.

232.071 Reserved

Status: active

L0:232.071 Reserved.

232.072 Financial responsibility of contractors

Status: active

L0:232.072 Financial responsibility of contractors.

L0:Use the policies and procedures in this section in determining the financial capability of

L0:current or prospective contractors.

232.072-1 Required financial reviews

Status: active

L0:232.072-1 Required financial reviews.

L0:Perform a financial review when there is insufficient information to make a positive
L0:determination of financial responsibility. In addition, the contracting officer must
L0:consider performing a financial review?

L1:(a) Prior to award of a contract, when the contractor?

L1:(1) Is on a list requiring preaward clearance or other special clearance before
L0:award;

L1:(2) Is listed on the Consolidated List of Contractors Indebted to the Government
L0:(Hold-Up List), or is otherwise known to be indebted to the Government;

L1:(3) May receive Government assets such as contract financing payments or
L0:Government property;

L1:(4) Is experiencing performance difficulties on other work; or

L1:(5) Is a new company or a new supplier of the item.

L1:(b) At periodic intervals after award of a contract, when?

L1:(1) Any of the conditions in paragraphs (a)(2) through (a)(5) of this subsection
L0:are applicable; or

L1:(2) There is any other reason to question the contractor's ability to finance
L0:performance and completion of the contract.

232.072-2 Appropriate information

Status: active

L0:232.072-2 Appropriate information.

L1:(a) Obtain the type and depth of financial and other information that is required to
L0:establish a contractor's financial capability or disclose a contractor's financial condition.

L0:The contracting officer should not request information that is not necessary for
L0:protection of the Government's interests. The unwillingness or inability of a contractor
L0:to present reasonably requested information in a timely manner, especially information
L0:that a prudent businessperson is expected to have and to use in the professional
L0:management of a business, may be a material fact in the determination of the
L0:contractor's responsibility and prospects for contract completion.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(b) Obtain the following information to the extent required to protect the
L0:Government's interest. In addition, if the contracting officer concludes that information
L0:not listed in paragraphs (b)(1) through (b)(10) of this subsection is required to comply
L0:with 232.072-1, that information should be requested. The information must be for the
L0:person(s) who are legally liable for contract performance. If the contractor is not a
L0:corporation, the contracting officer must obtain the required information for each
L0:individual/joint venturer/partner:

L1:(1) Balance sheet and income statement?

L1:(i) For the current fiscal year (interim);

L1:(ii) For the most recent fiscal year and, preferably, for the 2 preceding fiscal
L0:years. These should be certified by an independent public accountant or by an

L0:appropriate officer of the firm; and

L1:(iii) Forecasted for each fiscal year for the remainder of the period of

L0:contract performance.

L1:(2) Summary history of the contractor and its principal managers, disclosing

L0:any previous insolvencies whether corporate or personal, and describing its products or

L0:services.

L1:(3) Statement of all affiliations disclosing?

L1:(i) Material financial interests of the contractor;

L1:(ii) Material financial interests in the contractor;

L1:(iii) Material affiliations of owners, officers, directors, major stockholders;

L0:and

L1:(iv) The major stockholders if the contractor is not a widely-traded, publicly-

L0:held corporation.

L1:(4) Statement of all forms of compensation to each officer, manager, partner,

L0:joint venturer, or proprietor, as appropriate?

L1:(i) Planned for the current year;

L1:(ii) Paid during the past 2 years; and

L1:(iii) Deferred to future periods.

L1:(5) Business base and forecast that?

L1:(i) Shows, by significant markets, existing contracts and outstanding offers,

L0:including those under negotiation; and

L1:(ii) Is reconcilable to indirect cost rate projections.

L1:(6) Cash forecast for the duration of the contract (see 232.072-3).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(7) Financing arrangement information that discloses?

L1:(i) Availability of cash to finance contract performance;

L1:(ii) Contractor's exposure to financial crisis from creditor's demands;

L1:(iii) Degree to which credit security provisions could conflict with

L0:Government title terms under contract financing;

L1:(iv) Clearly stated confirmations of credit with no unacceptable

L0:qualifications; and

L1:(v) Unambiguous written agreement by a creditor if credit arrangements

L0:include deferred trade payments or creditor subordinations/repayment suspensions.

L1:(8) Statement of all state, local, and Federal tax accounts, including special

L0:mandatory contributions, e.g., environmental superfund.

L1:(9) Description and explanation of the financial effect of issues such as?

L1:(i) Leases, deferred purchase arrangements, or patent or royalty

L0:arrangements;

L1:(ii) Insurance, when relevant to the contract;

L1:(iii) Contemplated capital expenditures, changes in equity, or contractor

L0:debt load;

L1:(iv) Pending claims either by or against the contractor;

L1:(v) Contingent liabilities such as guarantees, litigation, environmental, or

L0:product liabilities;

L1:(vi) Validity of accounts receivable and actual value of inventory, as assets;

L0:and

L1:(vii) Status and aging of accounts payable.

L1:(10) Significant ratios such as?

L1:(i) Inventory to annual sales;

L1:(ii) Inventory to current assets;

L1:(iii) Liquid assets to current assets;

L1:(iv) Liquid assets to current liabilities;

L1:(v) Current assets to current liabilities; and

L1:(vi) Net worth to net debt.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

232.072-3 Cash flow forecasts

Status: active

L0:232.072-3 Cash flow forecasts.

L1:(a) Contractors are required to sustain a sufficient cash flow to perform the contract.

L0:If the contractor?s cashflow is questionable, the contracting officer should require the

L0:contractor to submit a cash flow forecast covering the duration of the contract.

L1:(b) A contractor?s inability or refusal to prepare and provide cash flow forecasts or to

L0:reconcile actual cash flow with previous forecasts is a strong indicator of serious

L0:managerial deficiencies or potential contract cost or performance problems.

L1:(c) Single or one-time cash flow forecasts are of limited forecasting power and should

L0:be limited to preaward survey situations. Establish reliable cash flow forecasts by

L0:comparing a series of previous actual cash flows with the corresponding forecasts and

L0:examining the causes of any differences.

L1:(d) See PGI 232.072-3(d) for cash flow forecast requirements

L1:(e) See PGI 232.072-3(e) for guidance on cash flow forecast assumptions.

L1:(f) The contracting officer should review the assumptions underlying the cash flow

L0:forecasts. In determining whether the assumptions are reasonable and realistic, the

L0:contracting officer should consult with?

L1:(1) The contractor;

L1:(2) Government personnel in the areas of finance, engineering, production, cost,

L0:and price analysis; or

L1:(3) Prospective supply, subcontract, and loan or credit sources.

SUBPART 252.2 ? -TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2--TEXT OF PROVISIONS AND CLAUSES

232.102 Description of contract financing methods

Status: active

L0:232.102 Description of contract financing methods.

L2:(e)(2) Progress payments based on percentage or stage of completion are authorized

L0:only for contracts for construction (as defined in FAR 36.102), shipbuilding, and ship

L0:conversion, alteration, or repair. However, percentage or stage of completion methods

L0:of measuring contractor performance may be used for performance-based payments in

L0:accordance with FAR Subpart 32.10.

232.102-70 Provisional delivery payments

Status: active

L0:232.102-70 Provisional delivery payments.

L0:See PGI 232.102-70 if provisional delivery payments are contemplated.

232.104 Providing contract financing

Status: active

L0:232.104 Providing contract financing.

L0:For fixed-price contracts with a period of performance in excess of a year that meet the

L0:dollar thresholds established in FAR 32.104(d), and for solicitations expected to result

L0:in such contracts, in lieu of the requirement at FAR 32.104(d)(1)(ii) for the contractor to

L0:demonstrate actual financial need or the unavailability of private financing, DoD has

L0:determined that?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(1) The use of customary contract financing (see FAR 32.113), other than loan

L0:guarantees and advance payments, is in DoD's best interest; and

L1:(2) Further justification of its use in individual acquisition is unnecessary.

232.202-4 Security for Government financing

Status: active

L0:232.202-4 Security for Government financing.

L2:(a)(2) When determining whether an offeror's financial condition is adequate

L0:security, see 232.072-2 and 232.072-3 for guidance. An offeror's financial condition may

L0:be sufficient to make the contractor responsible for award purposes, but may not be

L0:adequate security for commercial contract financing.

232.206 Solicitation provisions and contract clauses

Status: active

L0:232.206 Solicitation provisions and contract clauses.

L1:(f) Prompt payment for commercial purchase payments. The contracting officer

L0:must incorporate the following standard prompt payment terms for commercial product

L0:and commercial service contract financing:

L1:(i) Commercial advance payments: The contractor entitlement date specified in

L0:the contract, or 30 days after receipt by the designated billing office of a proper request

L0:for payment, whichever is later.

L1:(ii) Commercial interim payments: The contractor entitlement date specified in

L0:the contract, or 14 days after receipt by the designated billing office of a proper request

L0:for payment, whichever is later. The prompt payment standards for commercial

L0:delivery payments must be the same as specified in FAR Subpart 32.9 for invoice

L0:payments for the item delivered.

L1:(g) Installment payment financing for commercial products and commercial services.

L0:Installment payment financing is prohibited unless market research has established

L0:that this form of contract financing is both appropriate and customary in the

L0:commercial marketplace. When installment payment financing is used, the contracting

L0:officer must use the ceiling percentage of contract price that is customary in the

L0:particular marketplace (not to exceed the maximum rate established in FAR 52.232-30).

232.404 Exclusions

Status: active

L0:232.404 Exclusions.

L2:(a)(9) The requirements of FAR Subpart 32.4 do not apply to advertisements in high

L0:school and college publications for military recruitment efforts under 10 U.S.C. 503

L0:when the contract cost does not exceed the micro-purchase threshold.

232.409 Contracting officer action

Status: active

L0:232.409 Contracting officer action.

232.409-1 Recommendation for approval

Status: active

L0:232.409-1 Recommendation for approval.

L0:Follow the procedures at PGI 232.409-1 for preparation of the documents required by

L0:FAR 32.409-1(e) and (f).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

232.410 Findings, determination, and authorization

Status: active

L0:232.410 Findings, determination, and authorization.

L0:If an advance payment procedure is used without a special bank account, follow the

L0:procedures at PGI 232.410.

232.412 Contract clause

Status: active

L0:232.412 Contract clause.

232.412-70 Additional clauses

Status: active

L0:232.412-70 Additional clauses.

L1:(a) Insert the clause at 252.232-7000, Advance Payment Pool, in any contract that

L0:will be subject to the terms of an advance payment pool agreement with a nonprofit

L0:organization or educational institution. Normally, use the clause in all cost

L0:reimbursement type contracts with the organization or institution.

L1:(b) Insert the clause at 252.232-7005, Reimbursement of Subcontractor Advance

L0:Payments?DoD Mentor-Protege Program, when advance payments will be provided by

L0:the contractor to a subcontractor pursuant to an approved mentor-protege agreement

L0:(see subpart 219.71).

232.470 Advance payment pool

Status: active

L0:232.470 Advance payment pool.

L1:(a) An advance payment pool agreement?

L1:(1) Is a means of financing the performance of more than one contract held by a

L0:single contractor;

L1:(2) Is especially convenient for the financing of cost-type contracts with

L0:nonprofit educational or research institutions for experimental or research and

L0:development work when several contracts require financing by advance payments.

L0:When appropriate, pooled advance payments may also be used to finance other types of

L0:contracts held by a single contractor; and

L1:(3) May be established?

L1:(i) Without regard to the number of appropriations involved;

L1:(ii) To finance contracts for one or more department(s) or contracting

L0:activity(ies); or

L1:(iii) In addition to any other advance payment pool agreement at a single

L0:contractor location when it is more convenient or otherwise preferable to have more

L0:than one agreement.

232.501 General

Status: active

L0:232.501 General.

232.501-1 Customary progress payment rates

Status: active

L0:232.501-1 Customary progress payment rates.

L1:(a) The customary progress payment rates for DoD contracts, including contracts

L0:that contain foreign military sales (FMS) requirements, are 80 percent for large

L0:business concerns and 90 percent for small business concerns.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

232.501-2 Unusual progress payments

Status: active

L0:232.501-2 Unusual progress payments.

L0:Follow the procedures at PGI 232.501-2 for approval of unusual progress payments.

232.501-3 Contract price

Status: active

L0:232.501-3 Contract price.

L1:(b) The contracting officer may approve progress payments when the contract price

L0:exceeds the funds obligated under the contract, provided the contract limits the

L0:Government's liability to the lesser of?

L1:(i) The applicable rate (i.e., the lower of the progress payment rate, the

L0:liquidation rate, or the loss-ratio adjusted rate); or

L1:(ii) 100 percent of the funds obligated.

232.502 Preaward matters

Status: active

L0:232.502 Preaward matters.

232.502-4 Contract clauses

Status: active

L0:232.502-4 Contract clauses.

232.502-4-70 Additional clauses

Status: active

L0:232.502-4-70 Additional clauses.

L1:(a) Insert the clause at 252.232-7002, Progress Payments for Foreign Military Sales

L0:Acquisitions, in solicitations and contracts that?

L1:(i) Contain FMS requirements; and

L1:(ii) Provide for progress payments.

L1:(b) Insert the clause at 252.232-7004, DoD Progress Payment Rates, instead of

L0:Alternate I of the clause at FAR 52.232-16, if the contractor is a small business concern.

L1:(c) Insert the clause at 252.232-7018, Progress Payments?Multiple Lots, to

L0:authorize separate progress payment requests for multiple lots.

232.503 Postaward matters

Status: active

L0:232.503 Postaward matters.

232.503-6 Suspension or reduction of payments

Status: active

L0:232.503-6 Suspension or reduction of payments.

L1:(b) Contractor noncompliance. See also 242.7503.

L1:(g) Loss contracts. Use the following loss ratio adjustment procedures for making

L0:adjustments required by FAR 32.503-6(f) and (g)?

L1:(i) Except as provided in paragraph (g)(ii) of this subsection, the contracting

L0:officer must prepare a supplementary analysis of the contractor's request for progress

L0:payments and calculate the loss ratio adjustment using the procedures in FAR 32.503-

L0:6(g).

L1:(ii) The contracting officer may request the contractor to prepare the

L0:supplementary analysis as an attachment to the progress payment request when the

L0:contracting officer determines that the contractor's methods of estimating the ?Costs to

L0:Complete? are reliable, accurate, and not susceptible to improper influences.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(iii) To maintain an audit trail and permit verification of calculations, do not

L0:make the loss ratio adjustments by altering or replacing data on the contractor's

L0:original request for progress payment (SF 1443, Contractor's Request for Progress

L0:Payment, or computer generated equivalent).

232.503-15 Application of Government title terms

Status: active

L0:232.503-15 Application of Government title terms.

L1:(d) An administrative contracting officer (ACO) determination that the contractor's

L0:material management and accounting system conforms to the system criteria at

L0:252.242-7004(d)(7) constitutes the contracting officer approval requirement of FAR

L0:32.503-15(d). Prior to granting blanket approval of cost transfers between contracts, the

L0:ACO should determine that?

L1:(i) The contractor retains records of the transfer activity that took place in the

L0:prior month;

L1:(ii) The contractor prepares, at least monthly, a summary of the transfer

L0:activity that took place in the prior month; and

L1:(iii) The summary report includes as a minimum, the total number and dollar

L0:value of transfers.

232.602 Responsibilities

Status: active

L0:232.602 Responsibilities.

L1:(b) Disbursing officers are those officials designated to make payments under a

L0:contract or to receive payments of amounts due under a contract. The disbursing officer

L0:is responsible for determining the amount and collecting contract debts whenever

L0:overpayments or erroneous payments have been made. The disbursing officer also has

L0:primary responsibility when the amounts due and dates for payment are contained in

L0:the contract, and a copy of the contract has been furnished to the disbursing officer with

L0:notice to collect as amounts become due.

232.603 Debt determination

Status: active

L0:232.603 Debt determination.

L0:When transferring a case to the contract financing office, follow the procedures at PGI

L0:232.603.

232.604 Demand for payment

Status: active

L0:232.604 Demand for payment.

L0:When issuing a demand for payment of a contract debt, follow the procedures at PGI

L0:232.604.

232.610 Compromising debts

Status: active

L0:232.610 Compromising debts.

L0:Only the department/agency contract financing offices (see PGI 232.070(c)) are

L0:authorized to compromise debts covered by this subpart.

232.611 Contract clause

Status: active

L0:232.611 Contract clause.

L1:(a) The Principal Director, Defense Pricing, Contracting, and Acquisition Policy,

L0:Office of the Under Secretary of Defense (Acquisition and Sustainment), may exempt

L0:the contracts in FAR 32.611(a)(2) through (5) and other contracts, in exceptional

L0:circumstances, from the administrative interest charges required by this subpart.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

232.611-70 Additional exceptions

Status: active

L0:232.611-70 Additional exceptions.

L0:Additional exceptions are?

L1:(1) Contracts for instructions of military or ROTC personnel at civilian schools,

L0:colleges, and universities;

L1:(2) Basic agreements with telephone companies for communications services

L0:and facilities, and purchases under such agreements; and

L1:(3) Transportation contracts with common carriers for common carrier services.

232.670 Transfer of responsibility for debt collection

Status: active

L0:232.670 Transfer of responsibility for debt collection.

L0:Follow the procedures at PGI 232.670 for transferring responsibility for debt collection.

232.671 Bankruptcy reporting

Status: active

L0:232.671 Bankruptcy reporting.

L0:Follow the procedures at PGI 232.671 for bankruptcy reporting.

232.702 Policy

Status: active

L0:232.702 Policy.

L0:Fixed-price contracts must be fully funded except as permitted by 232.703-1.

232.703 Contract funding requirements

Status: active

L0:232.703 Contract funding requirements.

232.703-1 General

Status: active

L0:232.703-1 General.

L1:(1) A fixed-price contract may be incrementally funded only if?

L1:(i) The contract (excluding any options) or any exercised option?

L1:(A) Is for severable services;

L1:(B) Does not exceed one year in length; and

L1:(C) Is incrementally funded using funds available (unexpired) as of the date

L0:the funds are obligated; or

L1:(ii) The contract uses funds available from multiple (two or more) fiscal years

L0:and?

L0:or

L1:(A) The contract is funded with research and development appropriations;

L1:(B) Congress has otherwise authorized incremental funding.

L1:(2) An incrementally funded fixed-price contract must be fully funded as soon as

L0:funds are available.

232.703-3 Contracts crossing fiscal years

Status: active

L0:232.703-3 Contracts crossing fiscal years.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(b) The contracting officer may enter into a contract, exercise an option, or place an

L0:order under a contract for severable services for a period that begins in one fiscal year

L0:and ends in the next fiscal year if the period of the contract awarded, option exercised,

L0:or order placed does not exceed 1 year (10 U.S.C. 3133).

232.703-70 Military construction appropriations act restriction

Status: active

L0:232.703-70 Military construction appropriations act restriction.

L0:Annual military construction appropriations acts restrict the use of funds appropriated

L0:by the acts for payments under cost-plus-fixed-fee contracts (see 216.304-2).

232.704 Limitation of cost or funds

Status: active

L0:232.704 Limitation of cost or funds.

232.704-70 Incrementally funded fixed-price contracts

Status: active

L0:232.704-70 Incrementally funded fixed-price contracts.

L1:(a) Upon receipt of the contractor's notice under paragraph (c) of the clause at L0:252.232-7007, Limitation of Government's Obligation, the contracting officer must

L0:promptly provide written notice to the contractor that the Government is?

L1:(1) Allotting additional funds for continued performance and increasing the

L0:Government's limitation of obligation in a specified amount;

L1:(2) Terminating the contract; or

L1:(3) Considering whether to allot additional funds; and

L1:(i) The contractor is entitled by the contract terms to stop work when the

L0:Government's limitation of obligation is reached; and

L1:(ii) Any costs expended beyond the Government's limitation of obligation

L0:are at the contractor's risk.

L1:(b) Upon learning that the contract will receive no further funds, the contracting

L0:officer must promptly give the contractor written notice of the Government's decision

L0:and terminate for the convenience of the Government.

L1:(c) The contracting officer must ensure that, in accordance with paragraph (b) of the

L0:clause at 252.232-7007, Limitation of Government's Obligation, sufficient funds are

L0:allotted to the contract to cover the total amount payable to the contractor in the event

L0:of termination for the convenience of the Government.

232.706 Contract clauses

Status: active

L0:232.706 Contract clauses.

232.706-70 Clause for limitation of Government's obligation

Status: active

L0:232.706-70 Clause for limitation of Government's obligation.

L0:Insert the clause at 252.232-7007, Limitation of Government's Obligation, in

L0:solicitations and resultant incrementally funded fixed-price contracts. The contracting

L0:officer may revise the contractor's notification period, in paragraph (c) of the clause,

L0:from ?ninety? to ?thirty? or ?sixty? days, as appropriate.

232.803 Policies

Status: active

L0:232.803 Policies.

L1:(b) Only contracts for personal services may prohibit the assignment of claims.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(d) DoD will not reduce or set off any money due or to become due under the

L0:contract when the proceeds under the contract have been assigned in accordance with

L0:the Assignment of Claims provision of the contract (reference 41 U.S.C. 6305,

L0:Presidential delegation dated October 3, 1995, Secretary of Defense delegation dated

L0:February 5, 1996, and Under Secretary of Defense (Acquisition, Technology, and

L0:Logistics) delegation dated February 23, 1996, and the Director of Defense Procurement

L0:determined on May 10, 1996 as published in the Federal Register on June 11, 1996).

L0:Nevertheless, if departments/agencies decide it is in the Government's interest, or if the

L0:contracting officer makes a determination in accordance with FAR 32.803(d) concerning

L0:a significantly indebted offeror, they may exclude the no-setoff commitment.

232.805 Procedure

Status: active

L0:232.805 Procedure.

L1:(b) Upon receiving a notice of assignment, the contracting officer must direct the

L0:assignee to forward?

L1:(i) To the administrative contracting officer (ACO), a true copy of the

L0:instrument of assignment and an original and three copies of the notice of assignment.

L0:The ACO must acknowledge receipt by signing and dating all copies of the notice of

L0:assignment and must ?

L1:(A) File the true copy of the instrument of assignment and the original of

L0:the notice in the contract file;

L1:(B) Forward two copies of the notice to the disbursing officer of the payment

L0:office cited in the contract;

L1:(C) Return a copy of the notice to the assignee; and

L1:(D) Advise the contracting officer of the assignment.

L1:(ii) To the surety or sureties, if any, a true copy of the instrument of assignment

L0:and an original and three copies of the notice of assignment. The surety shall return

L0:three acknowledged copies of the notice to the assignee, who shall forward two copies to

L0:the disbursing officer designated in the contract.

L1:(iii) To the disbursing officer of the payment office cited in the contract, a true

L0:copy of the instrument of assignment and an original and one copy of the notice of

L0:assignment. The disbursing officer must acknowledge and return to the assignee the

L0:copy of the notice and must file the true copy of the instrument and original notice.

232.806 Contract clauses

Status: active

L0:232.806 Contract clauses.

L2:(a)(1) Insert the clause at 252.232-7008, Assignment of Claims (Overseas), instead
L0:of the clause at FAR 52.232-23, Assignment of Claims, in solicitations and contracts
L0:when contract performance will be in a foreign country.
L1:(2) Insert Alternate I with the clause at FAR 52.232-23, Assignment of Claims,
L0:unless otherwise authorized under 232.803(d).
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32
L0:Defense FAR Supplement (DFARS) Part 232

232.901 Applicability

Status: active

L0:232.901 Applicability.

L1:(1) Except for FAR 32.908, FAR subpart 32.9, Prompt Payment, does not apply
L0:when?
L1:(i) There is?
L1:(A) An emergency, as defined in the Disaster Relief Act of 1974;
L1:(B) A contingency operation (see FAR 2.101(b)); or
L1:(C) The release or threatened release of hazardous substances (as defined in
L0:4 U.S.C. 9606, section 106);
L1:(ii) The head of the contracting activity has made a determination, after
L0:consultation with the cognizant comptroller, that conditions exist that limit normal
L0:business operations; and
L1:(iii) Payments will be made in the operational area or made contingent upon
L0:receiving supporting documentation (i.e., contract, invoice, and receiving report) from
L0:the operational area.
L1:(2) Criteria limiting normal business operations during emergencies and
L0:contingency operations that restrict the use of FAR 32.9 may include such conditions
L0:as?
L1:(i) Support infrastructure, hardware, communications capabilities, and
L0:bandwidth are not consistently available such that normal business operations can be
L0:carried out;
L1:(ii) Support resources, facilities, and banking needs are not consistently
L0:available for use as necessary in carrying out normal business operations;
L1:(iii) Military mission priorities override the availability of appropriately skilled
L0:personnel in support of back-office operations;
L1:(iv) Mobility impairments and security concerns restrict free movement of
L0:personnel and documents necessary for timely processing;
L1:(v) Foreign vendors are not familiar with or do not understand DoD contract
L0:requirements (i.e., proper invoice, receiving documentation, and contracting terms); or
L1:(vi) Documents received in support of payment requests and shipments require

L0:language translations that cannot be performed and documented within normal
L0:business processing times.

L1:(3) Subsequent Determinations. The head of the contracting activity must make

L0:subsequent determinations, after consultation with the cognizant comptroller, as the

L0:operational area evolves into either a more stable or less stable environment.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(i) If the head of the contracting activity determines that the operational area

L0:has evolved into a more stable environment, the contracting officer must notify, by

L0:issuance of a contract modification, each contractor performing in the operational area

L0:under review. The modification deactivates this clause 252.232-7011 and activates the
L0:applicable FAR Prompt Payment clause in the contract.

L1:(ii) If after deactivation of this clause, the head of the contracting activity

L0:subsequently determines that the operational area has evolved into a less stable

L0:environment, the head of the contracting activity will make a determination that

L0:conditions exist that limit normal business operations. The contracting officer will then

L0:reactivate this clause 252.232-7011 by issuance of a contract modification.

232.903 Responsibilities

Status: active

L0:232.903 Responsibilities.

L0:In accordance with 10 U.S.C. 3801(b), DoD must assist small business concerns by

L0:providing payment as quickly as possible, to the fullest extent permitted by law, with a

L0:goal of 15 days after receipt of proper invoices and all required documentation,

L0:including acceptance, and before normal payment due dates established in the contract

L0:(see 232.906(a)).

232.904 Determining payment due dates

Status: active

L0:232.904 Determining payment due dates.

L1:(d) In most cases, Government acceptance or approval can occur within the 7-day

L0:constructive acceptance period specified in the FAR Prompt Payment clauses.

L0:Government payment of construction progress payments can, in most cases, be made

L0:within the 14-day period allowed by the Prompt Payment for Construction Contracts

L0:clause. While the contracting officer may specify a longer period because the period

L0:specified in the contract is not reasonable or practical, such change should be

L0:coordinated with the Government offices responsible for acceptance or approval and for

L0:payment. Reasons for specifying a longer period include but are not limited to: the

L0:nature of the work or supplies or services, inspection or testing requirements, shipping

L0:and acceptance terms, and resources available at the acceptance activity. A

L0:constructive acceptance period of less than the cited 7 or 14 days is not authorized.

232.905 Payment documentation and process

Status: active

L0:232.905 Payment documentation and process.

L3:(b)(1)(iii) For task and delivery orders numbered in accordance with FAR 4.201 and L0:204.201, the 13-character order number may serve as the contract number on invoices L0:and receiving reports. The contract or agreement number under which the order was L0:placed may be omitted from invoices and receiving reports. The contractor may choose L0:to identify both the contract number and the 13-character order number on invoices and L0:receiving reports. Task and delivery orders numbered with a four-position alpha-L0:numeric call or order serial number must include both the 13-position basic contract L0:Procurement Instrument Identifier and the four-position order number.

232.906 Making payments

Status: active

L0:232.906 Making payments.

L2:(a)(i) Generally, the contracting officer must insert the standard due date of 14 days L0:for interim payments on cost-reimbursement contracts for services in the clause at FAR L0:52.232-25, Prompt Payment, when using the clause with its Alternate I.
L1:(ii) The restrictions of FAR 32.906 prohibiting early payment do not apply to L0:invoice payments made to small business concerns. However, contractors are not L0:entitled to interest penalties if the Government fails to make early payment.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32
L0:Defense FAR Supplement (DFARS) Part 232

232.908 Contract clauses

Status: active

L0:232.908 Contract clauses.

L0:Insert the clause at 252.232-7011, Payments in Support of Emergencies and L0:Contingency Operations, in solicitations and contracts, including solicitations and L0:contracts using FAR part 12 procedures for the acquisition of commercial products and L0:commercial services, in acquisitions that meet the applicability criteria at 232.901(1).
L0:Use of this clause is in addition to use of either the approved Payment clause prescribed L0:in FAR 32.908 or the clause at FAR 52.212-4, Contract Terms and Conditions?
L0:Commercial Products and Commercial Services.

232.1001 Policy

Status: active

L0:232.1001 Policy.

L1:(a) As with all contract financing, the purpose of performance-based payments is to

L0:assist the contractor in the payment of costs incurred during the performance of the L0:contract. See PGI 232.1001(a) for additional information on use of performance-based L0:payments. However, in accordance with 10 U.S.C. 3802(a)(2), performance-based L0:payments must not be conditioned upon costs incurred in contract performance, but on L0:the achievement of performance outcomes. Subject to the criteria in 232.1003-70, all L0:companies, including nontraditional defense contractors, are eligible for performance-L0:based payments, consistent with best commercial practices.

L1:(d) The contracting officer must use the following standard payment terms for L0:performance-based payments: The contractor entitlement date, if any, specified in the L0:contract, or 14 days after receipt by the designated billing office of a proper request for L0:payment, whichever is later.

232.1003-70 Criteria for use

Status: active

L0:232.1003-70 Criteria for use.

L0:In accordance with 10 U.S.C. 3802(c)(1), a contractor?s financial statements must L0:comply with Generally Accepted Accounting Principles, in order to receive performance-L0:based payments. 10 U.S.C. 3802(c)(2) does not grant the Defense Contract Audit L0:Agency the authority to audit compliance with Generally Accepted Accounting L0:Principles.

232.1004 Procedures

Status: active

L0:232.1004 Procedures.

L1:(b) Establishing performance-based finance payment amounts.

L1:(i) The contracting officer should include in a solicitation both the progress L0:payments and performance-based payments provisions and clauses prescribed in this L0:part, when considering both types of payment methods. Only one type of financing will L0:be included in the resultant contract, except as may be authorized on separate orders L0:subject to FAR 32.1003(c)).

L1:(ii) The contracting officer must analyze the performance-based payment L0:schedule using the performance-based payments (PBP) analysis tool. The PBP analysis L0:tool is on the Defense Pricing, Contracting, and Acquisition Policy website in the Price, L0:Cost and Finance section. The PBP analysis tool and Performance Based Payment L0:Guidebook are available at [https://www.acq.osd.mil/asda/dpc/pcf/pricing-](https://www.acq.osd.mil/asda/dpc/pcf/pricing-topics.html#pdp) L0:topics.html#pdp.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(A) When considering performance-based payments, obtain from the L0:offeror/contractor a proposed performance-based payments schedule that includes all L0:performance-based payments events, completion criteria and event values along with L0:the projected monthly expenditure profile in order to negotiate the value of the

L0:performance events such that the performance-based payments are not expected to
L0:result in an unreasonably low or negative level of contractor investment in the contract.
L0:If performance-based payments are deemed practical, the Government will evaluate
L0:and negotiate the details of the performance-based payments schedule.
L1:(B) For modifications to contracts that already use performance-based
L0:payments financing, the basis for negotiation must include performance-based
L0:payments. The PBP analysis tool will be used in the same manner to help determine
L0:the price for the modification;
L1:(iii) The contracting officer must document in the contract file that the
L0:performance-based payment schedule provides a mutually beneficial settlement
L0:position that reflects adequate consideration to the Government for the improved
L0:contractor cash flow.
L1:(c) Instructions for multiple appropriations. If the contract contains foreign military
L0:sales requirements, the contracting officer must provide instructions for distribution of
L0:the contract financing payments to each country's account.

232.1005-70 Solicitation provisions and contract clauses

Status: active

L0:232.1005-70 Solicitation provisions and contract clauses.
L1:(a) The contracting officer must insert the following clauses with appropriate fill-ins
L0:in solicitations and contracts that include performance-based payments:
L1:(1) For performance-based payments made on a whole-contract basis, insert the
L0:clause at 252.232-7012, Performance-Based Payments-Whole-Contract Basis.
L1:(2) For performance-based payments made on a deliverable-item basis, insert
L0:the clause at 252.232-7013, Performance-Based Payments-Deliverable-Item Basis.
L1:(b) Insert the provision at 252.232-7015, Performance-Based Payments-
L0:Representation, in solicitations where the resulting contract may include performance-
L0:based payments.
L1:(c) Insert the provision at 252.232-7016, Notice of Progress Payments or
L0:Performance-Based Payments, in lieu of FAR 52.232-13, Notice of Progress Payments,
L0:when the solicitation contains clauses for progress payments and performance-based
L0:payments (only one type of financing will be included in the resultant contract, except
L0:as may be authorized on separate orders subject to FAR 32.1003(c)).

232.1108 Payment by Governmentwide commercial purchase card

Status: active

L0:232.1108 Payment by Governmentwide commercial purchase card.

232.1108-70 Prohibition of Governmentwide commercial purchase card as a

Status: active

L0:232.1108-70 Prohibition of Governmentwide commercial purchase card as a
L0:method of payment when the tax on certain foreign procurements applies.
L0:Do not authorize the Governmentwide commercial purchase card as a method of
L0:payment during any contract period of performance if the contract includes the clause
L0:at FAR 52.229-12, Tax on Certain Foreign Procurements, unless the contract also
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32
L0:Defense FAR Supplement (DFARS) Part 232
L0:includes the clause at 252.229-7014, Full Exemption from Two-Percent Excise Tax on
L0:Certain Foreign Procurements, indicating that the contractor is fully exempt from the
L0:tax.

232.1110-70 Solicitation provision and contract clauses

Status: active

L0:232.1110-70 Solicitation provision and contract clauses.
L0:Insert the clause at 252.232-7009, Mandatory Payment by Governmentwide
L0:Commercial Purchase Card, in solicitations, contracts, and agreements, including
L0:solicitations, contracts, and agreements using FAR part 12 procedures for the
L0:acquisition of commercial products and commercial services, when?
L1:(1) Placement of orders or calls valued at or below the micro-purchase threshold is
L0:anticipated; and
L1:(2) Payment by Governmentwide commercial purchase card is required for orders or
L0:calls valued at or below the micro-purchase threshold under the contract or agreement.

232.12 Fast Payment Procedure

Status: active

L0:232.12 Fast Payment Procedure.

232.1202 Conditions for use

Status: active

L0:232.1202 Conditions for use.
L1:(a) Individual orders may exceed the simplified acquisition threshold for?
L1:(i) Brand-name commercial product commissary resale subsistence; and
L1:(ii) Medical supplies for direct shipment overseas.

232.7000 Scope of subpart

Status: active

L0:232.7000 Scope of subpart.
L0:This subpart prescribes policies and procedures for submitting and processing payment

L0:requests in electronic form to comply with 10 U.S.C. 4601.

232.7001 Definitions

Status: active

L0:232.7001 Definitions.

L0:As used in this subpart?

L0:?Electronic form? means any automated system that transmits information

L0:electronically from the initiating system to affected systems.

L0:?Payment request? means any request for contract financing payment or invoice

L0:payment submitted by the contractor under a contract or task or delivery order.

L0:?Receiving report? means the data prepared in the manner and to the extent

L0:required by Appendix F, Material Inspection and Receiving Report, of the DFARS.

232.7002 Policy

Status: active

L0:232.7002 Policy.

L1:(a) Contractors are required to submit payment requests and receiving reports in

L0:electronic form, except for?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(1) Classified contracts or purchases when electronic submission and processing

L0:of payment requests and receiving reports could compromise the safeguarding of

L0:classified information or national security;

L1:(2) Cases in which contractor submission of electronic payment requests and

L0:receiving reports is not feasible (e.g., when contract performance is in an environment

L0:where internet connectivity is not available);

L1:(3) Cases in which DoD is unable to receive payment requests or provide

L0:acceptance in electronic form;

L1:(4) Cases in which the contractor has requested permission in writing to submit

L0:payment requests and receiving reports by nonelectronic means, and the contracting

L0:officer has provided instructions for a temporary alternative method of submission of

L0:payment requests and receiving reports in the contract administration data section of

L0:the contract or task or delivery order (e.g., section G, an addendum to FAR 52.212-4, or

L0:applicable clause); and

L1:(5) When the Governmentwide commercial purchase card is used as the method

L0:of payment, in which case only submission of the receiving report in electronic form is

L0:required.

L2:(b)(1) The only acceptable electronic form for submission of payment requests and

L0:receiving reports is Wide Area WorkFlow (WAWF) (<https://wawf.eb.mil/>), except as

L0:follows:

L1:(i) For payment of commercial transportation services provided under a

L0:Government rate tender, contract, or task or delivery order for transportation services,

L0:the use of a DoD-approved electronic third party payment system or other exempted
L0:vendor payment/invoicing system (e.g., PowerTrack, Transportation Financial
L0:Management System, and Cargo and Billing System) is permitted.
L1:(ii) For submitting and processing payment requests and receiving reports
L0:for contracts or task or delivery orders for rendered health care services, the use of
L0:TRICARE Encounter Data System as the electronic form is permitted.
L1:(2) Facsimile, email, and scanned documents are not acceptable electronic forms
L0:of payment requests or receiving reports.

232.7003 Procedures

Status: active

L0:232.7003 Procedures.
L0:Follow the procedures at PGI 232.7003 for processing electronic payments.

232.7004 Contract clauses

Status: active

L0:232.7004 Contract clauses.
L1:(a) Unless an exception to submission in electronic form at 232.7002(a) applies and
L0:instructions for invoices are contained in the contract administration data section of the
L0:contract, task order, or delivery order, insert the clause at 252.232-7003, Electronic
L0:Submission of Payment Requests and Receiving Reports, in solicitations and contracts,
L0:including solicitations and contracts using FAR part 12 procedures for the acquisition of
L0:commercial products and commercial services.
L1:(b) Insert the clause at 252.232-7006, Wide Area WorkFlow Payment Instructions,
L0:in solicitations and contracts, task orders, or delivery orders, including solicitations and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32
L0:Defense FAR Supplement (DFARS) Part 232
L0:contracts using FAR part 12 procedures for the acquisition of commercial products and
L0:commercial services, when 252.232-7003 is used and none of the exceptions at
L0:232.7002(b)(1) apply. See PGI 232.7004 for instructions on completing the clause.

232.7100 Scope of subpart

Status: active

L0:232.7100 Scope of subpart.
L0:This subpart prescribes policies and procedures concerning the effect of levies pursuant
L0:to 26 U.S.C. 6331(h) on contract payments. The Internal Revenue Service (IRS) is
L0:authorized to levy up to 100 percent of all payments made under a DoD contract, up to
L0:the amount of the tax debt.

232.7101 Policy and procedures

Status: active

L0:232.7101 Policy and procedures.

L1:(a) Contractors are required to?

L1:(1) Promptly notify the contracting officer when a levy may result in an

L0:inability to perform the contract; and

L1:(2) Advise the contracting officer whether the inability to perform may

L0:adversely affect national security.

L1:(b) The contracting officer must promptly notify the Principal Director, Defense

L0:Pricing, Contracting, and Acquisition Policy (DPCAP) when the contractor?s

L0:inability to perform will adversely affect national security or will result in

L0:significant additional costs to the Government. Follow the procedures at PGI

L0:232.7101(b) for reviewing the contractor?s rationale and submitting the required

L0:notification.

L1:(c) The Principal Director, DPCAP, will promptly evaluate the contractor?s

L0:rationale and will notify the IRS, the contracting officer, and the payment office, as

L0:appropriate, in accordance with the procedures at PGI 232.7101(c).

L1:(d) The contracting officer must then notify the contractor in accordance with

L0:paragraph (c) of the clause at 252.232-7010 and in accordance with the procedures

L0:at PGI 232.7101(d).

232.7102 Contract clause

Status: active

L0:232.7102 Contract clause.

L0:Insert the clause at 252.232-7010, Levies on Contract Payments, in all solicitations

L0:and contracts, including solicitations and contracts using FAR part 12 procedures

L0:for the acquisition of commercial products and commercial services.

252.232-7000 Advance Payment Pool

Status: active

L0:252.232-7000 Advance Payment Pool.

L0:As prescribed in 232.412-70(a), use the following clause:

L0:ADVANCE PAYMENT POOL (APR 2020)

L1:(a) Notwithstanding any other provision of this contract, advance payments will be

L0:made for contract performance in accordance with the Determinations, Findings, and

L0:Authorization for Advance payment dated _____.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(b) Payments made in accordance with this clause shall be governed by the terms

L0:and conditions of the Advance Payment Pool Agreement between the United States of

L0:America and [insert the name of the Contractor]. The Agreement is incorporated in the

L0:contract by reference.

L1:(c) When a letter of credit has not been issued to the Contractor in conjunction with

L0:the contract, payment will be by a dual payee Treasury check made payable to the

L0:Contractor or the disbursing office in the Advance Payment Pool Agreement and will be

L0:forwarded to that disbursing office for appropriate disposition.

252.232-7001 Reserved

Status: active

L0:252.232-7001 Reserved.

L0:(End of clause)

252.232-7002 Progress Payments for Foreign Military Sales Acquisitions

Status: active

L0:252.232-7002 Progress Payments for Foreign Military Sales Acquisitions.

L0:As prescribed in 232.502-4-70(a), use the following clause:

L0:PROGRESS PAYMENTS FOR FOREIGN MILITARY SALES ACQUISITIONS (MAY L0:2023)

L0:If this contract includes foreign military sales (FMS) requirements, the Contractor

L0:shall?

L1:(a) Submit separate progress payment requests for the FMS and U.S. line items in

L0:the contract;

L1:(b) Submit a supporting schedule showing the amount of each request distributed to

L0:each country's requirements;

L1:(c) Identify in each progress payment request the contract requirements to which it

L0:applies (i.e., FMS or U.S.);

L1:(d) Calculate each request on the basis of the prices, costs (including costs to

L0:complete), subcontract financing, and progress payment liquidations of the contract

L0:requirements to which it applies; and

L1:(e) Distribute costs among the countries in a manner acceptable to the

L0:Administrative Contracting Officer.

L0:(End of clause)

252.232-7003 Electronic Submission of Payment Requests and Receiving

Status: active

L0:252.232-7003 Electronic Submission of Payment Requests and Receiving

L0:Reports.

L0:As prescribed in 232.7004(a), use the following clause:

L0:ELECTRONIC SUBMISSION OF PAYMENT REQUESTS AND RECEIVING

L0:REPORTS (DEC 2018)

L1:(a) Definitions. As used in this clause?

L0:Contract financing payment? means an authorized Government disbursement of monies to a contractor prior to acceptance of supplies or services by the Government.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(1) Contract financing payments include?

L1:(i) Advance payments;

L1:(ii) Performance-based payments;

L1:(iii) Commercial advance and interim payments;

L1:(iv) Progress payments based on cost under the clause at Federal Acquisition Regulation (FAR) 52.232-16, Progress Payments;

L1:(v) Progress payments based on a percentage or stage of completion (see FAR 32.102(e)), except those made under the clause at FAR 52.232-5, Payments Under Fixed-Price Construction Contracts, or the clause at FAR 52.232-10, Payments Under Fixed-Price Architect-Engineer Contracts; and

L1:(vi) Interim payments under a cost reimbursement contract, except for a cost reimbursement contract for services when Alternate I of the clause at FAR 52.232-25, Prompt Payment, is used.

L1:(2) Contract financing payments do not include?

L1:(i) Invoice payments;

L1:(ii) Payments for partial deliveries; or

L1:(iii) Lease and rental payments.

L0:Electronic form? means any automated system that transmits information electronically from the initiating system to affected systems.

L0:Invoice payment? means a Government disbursement of monies to a contractor under a contract or other authorization for supplies or services accepted by the Government.

L1:(1) Invoice payments include?

L1:(i) Payments for partial deliveries that have been accepted by the Government;

L1:(ii) Final cost or fee payments where amounts owed have been settled between the Government and the contractor;

L1:(iii) For purposes of subpart 32.9 only, all payments made under the clause at 52.232-5, Payments Under Fixed-Price Construction Contracts, and the clause at 52.232-10, Payments Under Fixed-Price Architect-Engineer Contracts; and

L1:(iv) Interim payments under a cost-reimbursement contract for services when Alternate I of the clause at 52.232-25, Prompt Payment, is used.

L1:(2) Invoice payments do not include contract financing payments.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L0:Payment request? means any request for contract financing payment or invoice payment submitted by the Contractor under this contract or task or delivery order.

L0:Receiving report? means the data prepared in the manner and to the extent required by Appendix F, Material Inspection and Receiving Report, of the Defense Federal Acquisition Regulation Supplement.

L1:(b) Except as provided in paragraph (d) of this clause, the Contractor shall submit

L0:payment requests and receiving reports in electronic form using Wide Area WorkFlow

L1:(WAWF). The Contractor shall prepare and furnish to the Government a receiving

L0:report at the time of each delivery of supplies or services under this contract or task or

L0:delivery order. .

L1:(c) Submit payment requests and receiving reports to WAWF in one of the following

L0:electronic formats:

L1:(1) Electronic Data Interchange.

L1:(2) Secure File Transfer Protocol.

L1:(3) Direct input through the WAWF website.

L1:(d) The Contractor may submit a payment request and receiving report using

L0:methods other than WAWF only when?

L1:(1) The Contractor has requested permission in writing to do so, and the

L0:Contracting Officer has provided instructions for a temporary alternative method of

L0:submission of payment requests and receiving reports in the contract administration

L0:data section of this contract or task or delivery order;

L1:(2) DoD makes payment for commercial transportation services provided under

L0:a Government rate tender or a contract for transportation services using a DoD-

L0:approved electronic third party payment system or other exempted vendor

L0:payment/invoicing system (e.g., PowerTrack, Transportation Financial Management

L0:System, and Cargo and Billing System);

L1:(3) DoD makes payment on a contract or task or delivery order for rendered

L0:health care services using the TRICARE Encounter Data System; or

L1:(4) The Governmentwide commercial purchase card is used as the method of

L0:payment, in which case submission of only the receiving report in WAWF is required.

L1:(e) Information regarding WAWF is available at <https://wawf.eb.mil/>.

L1:(f) In addition to the requirements of this clause, the Contractor shall meet the

L0:requirements of the appropriate payment clauses in this contract when submitting

L0:payment requests.

252.232-7004 DoD Progress Payment Rates

Status: active

L0:252.232-7004 DoD Progress Payment Rates.

L0:As prescribed in 232.502-4-70(b), use the following clause:

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L0:DOD PROGRESS PAYMENT RATES (OCT 2014)

L0:If the Contractor is a small business concern, the Progress Payments clause of this

L0:contract is modified to change each mention of the progress payment rate and

L0:liquidation rate (excepting paragraph (k), Limitations on Unfinalized Contract

L0:Actions) to 90 percent.

L0:(End of clause)

252.232-7005 Reimbursement of Subcontractor Advance Payments?DoD

Status: active

L0:252.232-7005 Reimbursement of Subcontractor Advance Payments?DoD

L0:Mentor-Protégé Program.

L0:As prescribed in 232.412-70(b), use the following clause:

L0:REIMBURSEMENT OF SUBCONTRACTOR ADVANCE PAYMENTS?DOD

L0:MENTOR-PROTEGE PROGRAM (MAR 2024)

L1:(a) The Government will reimburse the Contractor for any advance payments made

L0:by the Contractor, as a mentor firm, to a protege firm, pursuant to an approved mentor-

L0:protege agreement, provided?

L1:(1) The Contractor?s subcontract with the protege firm includes a provision

L0:substantially the same as FAR 52.232-12, Advance Payments;

L1:(2) The Contractor has administered the advance payments in accordance with

L0:the policies of FAR Subpart 32.4; and

L1:(3) The Contractor agrees that any financial loss resulting from the failure or

L0:inability of the protege firm to repay any unliquidated advance payments is the sole

L0:financial responsibility of the Contractor.

L1:(b) For a fixed price type contract, advance payments made to a protege firm shall

L0:be paid and administered as if they were 100 percent progress payments. The

L0:Contractor shall include as a separate attachment with each Standard Form (SF) 1443,

L0:Contractor?s Request for Progress Payment, a request for reimbursement of advance

L0:payments made to a protege firm. The attachment shall provide a separate calculation

L0:of lines 14a through 14e of SF 1443 for each protege, reflecting the status of advance

L0:payments made to that protege.

L1:(c) For cost reimbursable contracts, reimbursement of advance payments shall be

L0:made via public voucher. The Contractor shall show the amounts of advance payments

L0:made to each protege on the public voucher, in the form and detail directed by the

L0:cognizant contracting officer or contract auditor.

L0:(End of clause)

252.232-7006 Wide Area WorkFlow Payment Instructions

Status: active

L0:252.232-7006 Wide Area WorkFlow Payment Instructions.

L0:As prescribed in 232.7004(b), use the following clause:

L0:WIDE AREA WORKFLOW PAYMENT INSTRUCTIONS (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L0:?Department of Defense Activity Address Code (DoDAAC)? is a six position code that

L0:uniquely identifies a unit, activity, or organization.

L0:?Document type? means the type of payment request or receiving report available

L0:for creation in Wide Area WorkFlow (WAWF).

L0:Local processing office (LPO)? is the office responsible for payment certification

L0:when payment certification is done external to the entitlement system.

L0:Payment request? and ?receiving report? are defined in the clause at 252.232-7003,

L0:Electronic Submission of Payment Requests and Receiving Reports.

L1:(b) Electronic invoicing. The WAWF system provides the method to electronically

L0:process vendor payment requests and receiving reports, as authorized by Defense

L0:Federal Acquisition Regulation Supplement (DFARS) 252.232-7003, Electronic

L0:Submission of Payment Requests and Receiving Reports.

L1:(c) WAWF access. To access WAWF, the Contractor shall?

L1:(1) Have a designated electronic business point of contact in the System for

L0:Award Management at <https://www.sam.gov>; and

L1:(2) Be registered to use WAWF at <https://wawf.eb.mil/> following the step-by-

L0:step procedures for self-registration available at this web site.

L1:(d) WAWF training. The Contractor should follow the training instructions of the

L0:WAWF Web-Based Training Course and use the Practice Training Site before

L0:submitting payment requests through WAWF. Both can be accessed by selecting the

L0:Web Based Training? link on the WAWF home page at <https://wawf.eb.mil/>

L1:(e) WAWF methods of document submission. Document submissions may be via

L0:web entry, Electronic Data Interchange, or File Transfer Protocol.

L1:(f) WAWF payment instructions. The Contractor shall use the following information

L0:when submitting payment requests and receiving reports in WAWF for this contract or

L0:task or delivery order:

L1:(1) Document type. The Contractor shall submit payment requests using the

L0:following document type(s):

L1:(i) For cost-type line items, including labor-hour or time-and-materials,

L0:submit a cost voucher.

L1:(ii) For fixed price line items?

L1:(A) That require shipment of a deliverable, submit the invoice and

L0:receiving report specified by the Contracting Officer.

L0: _____

L0:(Contracting Officer: Insert applicable invoice and receiving report document type(s) for

L0:fixed price line items that require shipment of a deliverable.)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(B) For services that do not require shipment of a deliverable, submit

L0:either the Invoice 2in1, which meets the requirements for the invoice and receiving

L0:report, or the applicable invoice and receiving report, as specified by the Contracting

L0:Officer.

L0: _____

L0:(Contracting Officer: Insert either ?Invoice 2in1? or the applicable invoice and

L0:receiving report document type(s) for fixed price line items for services.)

L1:(iii) For customary progress payments based on costs incurred, submit a

L0:progress payment request.

L1:(iv) For performance based payments, submit a performance based

L0:payment request.

L1:(v) For commercial financing, submit a commercial financing request.

L1:(2)) Fast Pay requests are only permitted when Federal Acquisition Regulation

L1:(FAR) 52.213-1 is included in the contract.

L0:[Note: The Contractor may use a WAWF ?combo? document type to create some

L0:combinations of invoice and receiving report in one step.]

L1:(3) Document routing. The Contractor shall use the information in the Routing

L0:Data Table below only to fill in applicable fields in WAWF when creating payment

L0:requests and receiving reports in the system.

L0:Routing Data Table*

L0>Data to be entered in WAWF

L0:Field Name in WAWF

L0:Pay Official DoDAAC

L0:Issue By DoDAAC

L0:Admin DoDAAC

L0:Inspect By DoDAAC

L0:Ship To Code

L0:Ship From Code

L0:Mark For Code

L0:Service Approver (DoDAAC)

L0:Service Acceptor (DoDAAC)

L0:Accept at Other DoDAAC

L0:LPO DoDAAC

L0:DCAA Auditor DoDAAC

L0:Other DoDAAC(s)

L0:(*Contracting Officer: Insert applicable DoDAAC information. If multiple ship

L0:to/acceptance locations apply, insert ?See Schedule? or ?Not applicable.?)

L0:(**Contracting Officer: If the contract provides for progress payments or performance-

L0:based payments, insert the DoDAAC for the contract administration office assigned the

L0:functions under FAR 42.302(a)(13).)

L1:(4) Payment request. The Contractor shall ensure a payment request includes

L0:documentation appropriate to the type of payment request in accordance with the

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L0:payment clause, contract financing clause, or Federal Acquisition Regulation 52.216-7,

L0:Allowable Cost and Payment, as applicable.

L1:(5) Receiving report. The Contractor shall ensure a receiving report meets the

L0:requirements of DFARS Appendix F.

L1:(g) WAWF point of contact.

L1:(1) The Contractor may obtain clarification regarding invoicing in WAWF from

L0:the following contracting activity?s WAWF point of contact.

L0: _____

L0:(Contracting Officer: Insert applicable information or ?Not applicable.?)

L1:(2) Contact the WAWF helpdesk at 866-618-5988, if assistance is needed.

252.232-7007 Limitation of Government's Obligation

Status: active

L0:252.232-7007 Limitation of Government's Obligation.

L0:As prescribed in 232.706-70, use the following clause:

L0:(End of clause)

L0:LIMITATION OF GOVERNMENT'S OBLIGATION (APR 2014)

L1:(a) Contract line item(s) [Contracting Officer insert after negotiations] is/are

L0:incrementally funded. For this/these item(s), the sum of \$ [Contracting Officer insert
L0:after negotiations] of the total price is presently available for payment and allotted to
L0:this contract. An allotment schedule is set forth in paragraph (j) of this clause.

L1:(b) For item(s) identified in paragraph (a) of this clause, the Contractor agrees to

L0:perform up to the point at which the total amount payable by the Government,
L0:including reimbursement in the event of termination of those item(s) for the
L0:Government's convenience, approximates the total amount currently allotted to the
L0:contract. The Contractor is not authorized to continue work on those item(s) beyond
L0:that point. The Government will not be obligated in any event to reimburse the
L0:Contractor in excess of the amount allotted to the contract for those item(s) regardless
L0:of anything to the contrary in the clause entitled "Termination for Convenience of the
L0:Government." As used in this clause, the total amount payable by the Government in
L0:the event of termination of applicable contract line item(s) for convenience includes
L0:costs, profit, and estimated termination settlement costs for those item(s).

L1:(c) Notwithstanding the dates specified in the allotment schedule in paragraph (j) of

L0:this clause, the Contractor will notify the Contracting Officer in writing at least ninety
L0:days prior to the date when, in the Contractor's best judgment, the work will reach the
L0:point at which the total amount payable by the Government, including any cost for
L0:termination for convenience, will approximate 85 percent of the total amount then
L0:allotted to the contract for performance of the applicable item(s). The notification will
L0:state (1) the estimated date when that point will be reached and (2) an estimate of
L0:additional funding, if any, needed to continue performance of applicable line items up to
L0:the next scheduled date for allotment of funds identified in paragraph (j) of this clause,
L0:or to a mutually agreed upon substitute date. The notification will also advise the
L0:Contracting Officer of the estimated amount of additional funds that will be required for
L0:the timely performance of the item(s) funded pursuant to this clause, for a subsequent
L0:period as may be specified in the allotment schedule in paragraph (j) of this clause or
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32
L0:Defense FAR Supplement (DFARS) Part 232

L0:otherwise agreed to by the parties. If after such notification additional funds are not
L0:allotted by the date identified in the Contractor's notification, or by an agreed substitute
L0:date, the Contracting Officer will terminate any item(s) for which additional funds have
L0:not been allotted, pursuant to the clause of this contract entitled "Termination for
L0:Convenience of the Government."

L1:(d) When additional funds are allotted for continued performance of the contract

L0:line item(s) identified in paragraph (a) of this clause, the parties will agree as to the
L0:period of contract performance which will be covered by the funds. The provisions of

L0:paragraphs (b) through (d) of this clause will apply in like manner to the additional
L0:allotted funds and agreed substitute date, and the contract will be modified accordingly.
L1:(e) If, solely by reason of failure of the Government to allot additional funds, by the
L0:dates indicated below, in amounts sufficient for timely performance of the contract line
L0:item(s) identified in paragraph (a) of this clause, the Contractor incurs additional costs
L0:or is delayed in the performance of the work under this contract and if additional funds
L0:are allotted, an equitable adjustment will be made in the price or prices (including
L0:appropriate target, billing, and ceiling prices where applicable) of the item(s), or in the
L0:time of delivery, or both. Failure to agree to any such equitable adjustment hereunder
L0:will be a dispute concerning a question of fact within the meaning of the clause entitled
L0:Disputes.
L1:(f) The Government may at any time prior to termination allot additional funds for
L0:the performance of the contract line item(s) identified in paragraph (a) of this clause.
L1:(g) The termination provisions of this clause do not limit the rights of the
L0:Government under the clause entitled Default. The provisions of this clause are
L0:limited to the work and allotment of funds for the contract line item(s) set forth in
L0:paragraph (a) of this clause. This clause no longer applies once the contract is fully
L0:funded except with regard to the rights or obligations of the parties concerning
L0:equitable adjustments negotiated under paragraphs (d) and (e) of this clause.
L1:(h) Nothing in this clause affects the right of the Government to terminate this
L0:contract pursuant to the clause of this contract entitled Termination for Convenience of
L0:the Government.
L1:(i) Nothing in this clause shall be construed as authorization of voluntary services
L0:whose acceptance is otherwise prohibited under 31 U.S.C. 1342.
L1:(j) The parties contemplate that the Government will allot funds to this contract in
L0:accordance with the following schedule:
L0:On execution of contract
L2:(month) (day), (year)
L2:(month) (day), (year)
L2:(month) (day), (year)
L0:\$ _____
L0:\$ _____
L0:\$ _____
L0:\$ _____
L0:(End of clause)

252.232-7008 Assignment of Claims (Overseas)

Status: active

L0:252.232-7008 Assignment of Claims (Overseas).
L0:As prescribed in 232.806(a)(1), use the following clause:
L0:ASSIGNMENT OF CLAIMS (OVERSEAS) (JUN 1997)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32
L0:Defense FAR Supplement (DFARS) Part 232

L1:(a) No claims for monies due, or to become due, shall be assigned by the Contractor
L0:unless³/₄
L1:(1) Approved in writing by the Contracting Officer;
L1:(2) Made in accordance with the laws and regulations of the United States of
L0:America; and
L1:(3) Permitted by the laws and regulations of the Contractor's country.
L1:(b) In no event shall copies of this contract or of any plans, specifications, or other
L0:similar documents relating to work under this contract, if marked "Top Secret,"
L0:"Secret," or "Confidential" be furnished to any assignee of any claim arising under this
L0:contract or to any other person not entitled to receive such documents. However, a copy
L0:of any part or all of this contract so marked may be furnished, or any information
L0:contained herein may be disclosed, to such assignee upon the Contracting Officer's prior
L0:written authorization.
L1:(c) Any assignment under this contract shall cover all amounts payable under this
L0:contract and not already paid, and shall not be made to more than one party, except
L0:that any such assignment may be made to one party as agent or trustee for two or more
L0:parties participating in such financing. On each invoice or voucher submitted for
L0:payment under this contract to which any assignment applies, and for which direct
L0:payment thereof is to be made to an assignee, the Contractor shall³/₄
L1:(1) Identify the assignee by name and complete address; and
L1:(2) Acknowledge the validity of the assignment and the right of the named
L0:assignee to receive payment in the amount invoiced or vouchered.
L0:(End of clause)

252.232-7009 Mandatory Payment by Governmentwide Commercial Purchase

Status: active

L0:252.232-7009 Mandatory Payment by Governmentwide Commercial Purchase
L0:Card.

L0:As prescribed in 232.1110, use the following clause:

L0:MANDATORY PAYMENT BY GOVERNMENTWIDE COMMERCIAL PURCHASE

L0:CARD (MAY 2018)

L0:The Contractor agrees to accept the Governmentwide commercial purchase card as the
L0:method of payment for orders or calls valued at or below the micro-purchase threshold
L0:in part 202 of the Defense Federal Acquisition Regulation Supplement, under this
L0:contract or agreement.

252.232-7010 Levies on Contract Payments

Status: active

L0:252.232-7010 Levies on Contract Payments.
L0:As prescribed in 232.7102, use the following clause:
L0:(End of clause)

L0:LEVIES ON CONTRACT PAYMENTS (DEC 2006)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(a) 26 U.S.C. 6331(h) authorizes the Internal Revenue Service (IRS) to continuously

L0:levy up to 100 percent of contract payments, up to the amount of tax debt.

L1:(b) When a levy is imposed on a payment under this contract and the Contractor

L0:believes that the levy may result in an inability to perform the contract, the Contractor

L0:shall promptly notify the Procuring Contracting Officer in writing, with a copy to the

L0:Administrative Contracting Officer, and shall provide?

L1:(1) The total dollar amount of the levy;

L1:(2) A statement that the Contractor believes that the levy may result in an

L0:inability to perform the contract, including rationale and adequate supporting

L0:documentation; and

L1:(3) Advice as to whether the inability to perform may adversely affect national

L0:security, including rationale and adequate supporting documentation.

L1:(c) DoD shall promptly review the Contractor's assessment, and the Procuring

L0:Contracting Officer shall provide a written notification to the Contractor including-

L1:(1) A statement as to whether DoD agrees that the levy may result in an inability to

L0:perform the contract; and

L2:(2)(i) If the levy may result in an inability to perform the contract and the lack of

L0:performance will adversely affect national security, the total amount of the monies

L0:collected that should be returned to the Contractor; or

L1:(ii) If the levy may result in an inability to perform the contract but will not

L0:impact national security, a recommendation that the Contractor promptly notify the

L0:IRS to attempt to resolve the tax situation.

L1:(d) Any DoD determination under this clause is not subject to appeal under the

L0:Contract Disputes Act.

L0:(End of clause)

252.232-7011 Payments in Support of Emergencies and Contingency

Status: active

L0:252.232-7011 Payments in Support of Emergencies and Contingency

L0:Operations.

L0:As prescribed in 232.908, use the following clause:

L0:PAYMENTS IN SUPPORT OF EMERGENCIES AND CONTINGENCY

L0:OPERATIONS (MAY 2013)

L1:(a) Definitions of pertinent terms are set forth in sections 2.101, 32.001, and

32.902 of the Federal Acquisition Regulation

Status: active

L0:32.902 of the Federal Acquisition Regulation.

L1:(b) Notwithstanding any other payment clause in this contract, the Government
L0:will make invoice payments under the terms and conditions specified in this
L0:clause. The Government considers payment as being made on the day a check is dated
L0:or the date of an electronic funds transfer.

L1:(c) Invoice payments.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32
L0:Defense FAR Supplement (DFARS) Part 232

L1:(1) Due date.
L1:(i) Payment will be made as soon as possible once a proper invoice is
L0:received and matched with the contract and the receiving/acceptance report.
L1:(ii) If the contract does not require submission of an invoice for payment (e.g., periodic
L0:lease payments), the due date will be as specified in the contract.

L1:(2) Contractor's invoice. The Contractor shall prepare and submit invoices to the
L0:designated billing office specified in the contract. A proper invoice should include the
L0:items listed in paragraphs (c)(2)(i) through (c)(2)(x) of this clause.

L1:(i) Name and address of the Contractor.
L1:(ii) Invoice date and invoice number. (The Contractor should date invoices as close as
L0:possible to the date of the mailing or transmission.)
L1:(iii) Contract number or other authorization for supplies delivered or services
L0:performed (including order number and contract line item number).
L1:(iv) Description, quantity, unit of measure, unit price, and extended price of supplies
L0:delivered or services performed.
L1:(v) Shipping and payment terms (e.g., shipment number and date of shipment, discount
L0:for prompt payment terms). Bill of lading number and weight of shipment will be
L0:shown for shipments on Government bills of lading.
L1:(vi) Name and address of Contractor official to whom payment is to be sent (must be
L0:the same as that in the contract or in a proper notice of assignment).
L1:(vii) Name (where practicable), title, phone number, and mailing address of person to
L0:notify in the event of a defective invoice.
L1:(viii) Taxpayer Identification Number (when required). The taxpayer identification
L0:number is required for all payees subject to the U.S. Internal Revenue Code.

L1:(ix) Electronic funds transfer banking information.
L1:(A) The Contractor shall include electronic funds transfer banking information on the
L0:invoice only if required elsewhere in this contract.
L1:(B) If electronic funds transfer banking information is not required to be on the invoice,
L0:in order for the invoice to be a proper invoice, the Contractor shall have submitted
L0:correct electronic funds transfer banking information in accordance with the applicable
L0:solicitation provision (e.g., FAR 52.232-38, Submission of Electronic Funds Transfer
L0:Information with Offer), contract clause (e.g., FAR 52.232-33, Payment by Electronic
L0:Funds Transfer?System for Award Management, or FAR 52.232-34, Payment by
L0:Electronic Funds Transfer-Other Than System for Award Management), or applicable
L0:agency procedures.
L1:(C) Electronic funds transfer banking information is not required if the Government
L0:waived the requirement to pay by electronic funds transfer.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(x) Any other information or documentation required by the contract (e.g., evidence of L0:shipment).

L1:(3) Discounts for prompt payment. The designated payment office will take cost-

L1:(4) Contract financing payment. If this contract provides for contract financing, the

L0:Government will make contract financing payments in accordance with the applicable

L0:contract financing clause.

L1:(5) Overpayments. If the Contractor becomes aware of a duplicate contract financing or

L0:invoice payment or that the Government has otherwise overpaid on a contract financing

L0:or invoice payment, the Contractor shall?

L1:(i) Remit the overpayment amount to the payment office cited in the

L0:contract along with a description of the overpayment, including the?

L1:(A) Circumstances of the overpayment (e.g., duplicate payment,

L0:erroneous payment, liquidation errors, date(s) of overpayment);

L1:(B) Affected contract number and delivery order number, if

L0:applicable;

L1:(C) Affected contract line item or subline item, if applicable; and

L1:(D) Contractor point of contact; and

L1:(ii) Provide a copy of the remittance and supporting documentation to the

L0:Contracting Officer.

L1:(d) This clause is applicable until otherwise notified by the Contracting

L0:Officer. Upon notification by issuance of a contract modification, the appropriate FAR

L0:Prompt Payment clause in the contract becomes applicable.

L0:(End of clause)

252.232-7012 Performance-Based Payments-Whole-Contract Basis

Status: active

L0:252.232-7012 Performance-Based Payments-Whole-Contract Basis.

L0:As prescribed in 232.1005-70(a)(1), use the following clause:

L0:PERFORMANCE-BASED PAYMENTS-WHOLE-CONTRACT BASIS (DEC 2022)

L1:(a) Performance-based payments shall form the basis for the contract financing

L0:payments provided under this contract, and shall apply to the whole contract. The

L0:performance-based payments schedule (Contract Attachment ____) describes the basis

L0:for payment, to include identification of the individual payment events, evidence of

L0:completion, and amount of payment due upon completion of each event.

L1:(b) In accordance with 10 U.S.C. 3802(c), the Contractor?s financial statements shall

L0:be in compliance with Generally Accepted Accounting Principles in order to receive

L0:performance-based payments.

L2:(c)(1) The Contractor shall, in addition to providing the information required by

L0:FAR 52.232-32, submit information for all payment requests using the following format:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L0:Current performance-based payment(s) event(s) addressed by this request:

L0:Contractor shall identify?

L1:(1a) Negotiated value of all previously completed

L0:performance-based payment(s) event(s);

L1:(1b) Negotiated value of the current performance-based

L0:payment(s) event(s);

L1:(1c) Cumulative negotiated value of performance-based

L0:payment(s) events completed to date (1a) + (1b); and

L1:(2) Total costs incurred to date.

L0:Amount

L0:Totals

L1:(2) Incurred cost is determined by the Contractor's accounting books and

L0:records, to which the Contractor shall provide access upon request of the Contracting

L0:Officer. An acceptable accounting system in accordance with DFARS 252.242-7006 is

L0:not required for reporting of incurred costs under this clause. If the Contractor's

L0:accounting system is not capable of tracking costs on a job order basis, the Contractor

L0:shall provide a realistic approximation of the allocation of incurred costs attributable to

L0:this contract in accordance with the Contractor's accounting system. FAR 52.232-32(m)

L0:does not require certification of incurred costs.

L1:(d) Security for financing.

L1:(1) Title to the property described in paragraph (f) of the clause at FAR 52.232-

L0:32, Performance-Based Payments, is the preferred security for receipt of performance-

L0:based payments.

L2:(2)(i) If the Contractor's accounting system is not capable of identifying and

L0:tracking through the build cycle the property that is allocable and properly chargeable

L0:to this contract, the Contracting Officer may consider acceptance of one or a

L0:combination of the following alternative forms of security sufficient to constitute

L0:adequate security for the performance-based payments and so specify in the contract,

L0:consistent with FAR 32.202-4:

L1:(A) A paramount lien on assets.

L1:(B) An irrevocable letter of credit from a federally insured financial

L0:institution.

L1:(C) A bond from a surety, acceptable in accordance with FAR part 28.

L1:(D) A guarantee of repayment from a person or corporation of

L0:demonstrated liquid net worth, connected by significant ownership interest to the

L0:Contractor.

L1:(E) Title to identified Contractor assets of adequate worth.

L1:(ii) Paragraph (f) of the clause at FAR 52.232-32 does not apply to the

L0:extent that the Contractor and the Contracting Officer agree on alternative forms of

L0:security. In the event the Contractor fails to provide adequate security, as required in

L0:this contract, no financing payment will be made under this contract. Upon receipt of

L0:adequate security, financing payments will be made, including all previous payments to

L0:which the Contractor is entitled, in accordance with the terms of the provisions for

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L0:contract financing. If at any time the Contracting Officer determines that the security

L0:provided by the Contractor is insufficient, the Contractor shall promptly provide such
 L0:additional security as the Contracting Officer determines necessary. In the event the
 L0:Contractor fails to provide such additional security, the Contracting Officer may collect
 L0:or liquidate such security that has been provided and suspend further payments to the
 L0:Contractor; and the Contractor shall repay to the Government the amount of
 L0:unliquidated financing payments as the Contracting Officer at his sole discretion deems
 L0:repayable.
 L0:(End of clause)

252.232-7013 Performance-Based Payments?Deliverable-Item Basis

Status: active

L0:252.232-7013 Performance-Based Payments?Deliverable-Item Basis.

L0:As prescribed in 232.1005-70(a)(2), use the following clause:

L0:PERFORMANCE-BASED PAYMENTS-DELIVERABLE-ITEM BASIS (DEC 2022)

L1:(a) Performance-based payments shall form the basis for the contract financing
 L0:payments provided under this contract and shall apply to Contract Line Item Numbers
 L0:(CLIN(s)) [Contracting Officer insert applicable CLIN(s)] . The performance-based
 L0:payments schedule (Contract Attachment ____) describes the basis for payment, to
 L0:include identification of the individual payment events, CLINs to which each event
 L0:applies, evidence of completion, and amount of payment due upon completion of each
 L0:event.

L1:(b) In accordance with 10 U.S.C. 3802(c), the Contractor?s financial statements shall
 L0:be in compliance with Generally Accepted Accounting Principles in order to receive
 L0:performance-based payments.

L2:(c)(1) The Contractor shall, in addition to providing the information required by
 L0:FAR 52.232-32, submit information for all payment requests using the following format:
 L0:Current performance-based payment(s) event(s) addressed by this request:
 L0:Contractor shall identify?

L1:(1a) Negotiated value of all previously completed
 L0:performance-based payment(s) event(s);

L1:(1b) Negotiated value of the current performance-based
 L0:payment(s) event(s);

L1:(1c) Cumulative negotiated value of performance-based
 L0:payment(s) event(s) completed to date (1a) + (1b); and
 L1:(2) Total costs incurred to date.

L0:Amount

L0:Totals

L1:(2) Incurred cost is determined by the Contractor?s accounting books and
 L0:records, to which the Contractor shall provide access upon request of the Contracting
 L0:Officer. An acceptable accounting system in accordance with DFARS 252.242-7006 is
 L0:not required for reporting of incurred costs under this clause. If the Contractor?s
 L0:accounting system is not capable of tracking costs on a job order basis, the Contractor
 L0:shall provide a realistic approximation of the allocation of incurred costs attributable to

L0:this contract in accordance with the Contractor?s accounting system. FAR 52.232-32(m)
L0:does not require certification of incurred costs.
L1:(d) Security for financing.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32
L0:Defense FAR Supplement (DFARS) Part 232
L1:(1) Title to the property described in paragraph (f) of the clause at FAR 52.232-
L0:32, Performance-Based Payments, is the preferred security for receipt of performance-
L0:based payments.
L2:(2)(i) If the Contractor?s accounting system is not capable of identifying and
L0:tracking through the build cycle the property that is allocable and properly chargeable
L0:to this contract, the Contracting Officer may consider acceptance of one or a
L0:combination of the following alternative forms of security sufficient to constitute
L0:adequate security for the performance-based payments and so specify in the contract,
L0:consistent with FAR 32.202-4:
L1:(A) A paramount lien on assets.
L1:(B) An irrevocable letter of credit from a federally insured financial
L0:institution.
L1:(C) A bond from a surety, acceptable in accordance with FAR part 28.
L1:(D) A guarantee of repayment from a person or corporation of
L0:demonstrated liquid net worth, connected by significant ownership interest to the
L0:Contractor.
L1:(E) Title to identified Contractor assets of adequate worth.
L1:(ii) Paragraph (f) of the clause at FAR 52.232-32 does not apply to the
L0:extent that the Contractor and the Contracting Officer agree on alternative forms of
L0:security. In the event the Contractor fails to provide adequate security, as required in
L0:this contract, no financing payment will be made under this contract. Upon receipt of
L0:adequate security, financing payments will be made, including all previous payments to
L0:which the Contractor is entitled, in accordance with the terms of the provisions for
L0:contract financing. If at any time the Contracting Officer determines that the security
L0:provided by the Contractor is insufficient, the Contractor shall promptly provide such
L0:additional security as the Contracting Officer determines necessary. In the event the
L0:Contractor fails to provide such additional security, the Contracting Officer may collect
L0:or liquidate such security that has been provided and suspend further payments to the
L0:Contractor; and the Contractor shall repay to the Government the amount of
L0:unliquidated financing payments as the Contracting Officer at his sole discretion deems
L0:repayable.
L0:(End of clause)

252.232-7014 Reserved

Status: active

L0:252.232-7014 Reserved.

252.232-7015 Performance-Based Payments?Representation

Status: active

L0:252.232-7015 Performance-Based Payments?Representation.

L0:As prescribed in 232.1005-70(b), use the following provision:

L0:PERFORMANCE-BASED PAYMENTS?REPRESENTATION (DEC 2022)

L1:(a) In accordance with 10 U.S.C. 3802(c), the Contractor?s financial statements shall

L0:be in compliance with Generally Accepted Accounting Principles in order to receive

L0:performance-based payments.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(b) The Offeror represents that its financial statements are [] are not [] in

L0:compliance with Generally Accepted Accounting Principles.

L0:(End of provision)

252.232-7016 Notice of Progress Payments or Performance-Based Payments

Status: active

L0:252.232-7016 Notice of Progress Payments or Performance-Based Payments.

L0:As prescribed in 232.1005-70(c), insert the following provision:

L0:NOTICE OF PROGRESS PAYMENTS OR PERFORMANCE-BASED PAYMENTS

L0:(APR 2020)

L1:(a) The need for customary progress payments in accordance with subpart 32.5 of

L0:the Federal Acquisition Regulation (FAR) or performance-based payments in

L0:accordance with FAR subpart 32.10 will not be considered as a handicap or adverse

L0:factor in the award of the contract.

L1:(b) This solicitation includes a FAR and Defense Federal Acquisition Regulation

L0:Supplement (DFARS) clause for performance-based payments and a FAR clause for

L0:progress payments. The resultant contract will include either performance-based

L0:payments or progress payments, not both, except as may be authorized on separate

L0:orders subject to FAR 32.1003(c).

L1:(1) The performance-based payments clauses will be included in the contract

L0:if?

L1:(i) The Offeror has provided positive representation in response to

L0:DFARS 252.232-7015, Performance-Based Payments?Representation;

L1:(ii) The Offeror proposes a performance-based payment arrangement in

L0:accordance with FAR 52.232-28, Invitation to Propose Performance-Based Payments,

L0:including proposed events and timing, event completion criteria, event values, and

L0:expected expenditure profile; and

L1:(iii) The Offeror and the Government reach agreement on all aspects of the

L0:arrangement.

L1:(2) If performance-based payments clauses are not included in the resultant

L0:contract, the progress payments clause included in this solicitation will be included in

L0:any resultant contract, modified or altered if necessary in accordance with FAR 52.232-

L0:16 and its Alternate I. Even though the progress payments clause is included in the L0:contract, the clause shall be inoperative during any time the contractor's accounting L0:system and controls are determined by the Government to be inadequate for L0:segregation and accumulation of contract costs.
L0:(End of provision)

252.232-7017 Reserved

Status: active

L0:252.232-7017 Reserved.

252.232-7018 Progress Payments?Multiple Lots

Status: active

L0:252.232-7018 Progress Payments?Multiple Lots.
L0:As prescribed in 232.502-4-70(c), use the following clause:
L0:PROGRESS PAYMENTS?MULTIPLE LOTS (MAY 2023)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32
L0:Defense FAR Supplement (DFARS) Part 232
L1:(a) Definitions. As used in this clause?
L0:?Lot? means one or more fixed-price deliverable line items or deliverable subline
L0:items representing a single, severable group where the sum of the costs for each group
L0:is segregated and a single progress payment rate is used.
L0:?Multiple lots? means more than one lot on a single contract where progress
L0:payment proration is performed on a lot-wide, versus contract-wide, basis.
L1:(b) When submitting progress payment requests under the billing instructions in
L0:Federal Acquisition Regulation (FAR) clause 52.232-16, Progress Payments, or Defense
L0:Federal Acquisition Regulation Supplement (DFARS) clause 252.232-7002, Progress
L0:Payments for Foreign Military Sales Acquisitions, of this contract, the Contractor
L0:shall?
L1:(1) Submit separate progress payment requests for each lot identified in the
L0:contract;
L1:(2) Identify the contract price for the lot as the sum of all fixed-priced line items
L0:identified to the lot, in accordance with FAR 32.501-3;
L1:(3) Identify the lot on each progress payment request to which the request
L0:applies;
L1:(4) Calculate each request on the basis of the price, costs (including the cost to
L0:complete), subcontractor financing, and progress payment liquidations of the lot to
L0:which it applies; and
L1:(5) Distribute costs among lots in a manner acceptable to the Administrative
L0:Contracting Officer.
L1:(c) Submit a separate progress payment request for U.S. and FMS requirements in
L0:accordance with the DFARS clause 252.232-7002, Progress Payments for Foreign

L0:Military Sales Acquisitions, of this contract.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L0:PGI 232?CONTRACT FINANCING

L0:PGI 232.006-5 Reporting.

L0:Departments and agencies, in accordance with department/agency procedures, shall

L0:prepare and submit to the Under Secretary of Defense (Acquisition and Sustainment),

L0:through the Principal Director, Defense Pricing, Contracting, and Acquisition Policy,

L0:annual reports (Report Control Symbol DD-AT&L(A)1891) containing the information

L0:required by FAR 32.006-5.

L0:PGI 232.070 Responsibilities.

L1:(c) The Under or Assistant Secretary, or other designated official, responsible for the

L0:comptroller function within the department or agency is the focal point for financing matters

L0:at the department/agency headquarters. Departments and agencies may establish contract

L0:financing offices at operational levels.

L1:(i) Department/agency contract financing offices are:

L1:(A) Army: Office of the Assistant Secretary of the Army (Financial

L0:Management).

L1:(B) Navy: Office of the Assistant Secretary of the Navy (Financial Management

L0:and Comptroller), Office of Financial Operations.

L1:(C) Air Force: Air Force Contract Financing Office (SAF/FMPB).

L1:(D) Defense agencies: Office of the agency comptroller.

L1:(ii) Contract financing offices should participate in?

L1:(A) Developing regulations for contract financing;

L1:(B) Developing contract provisions for contract financing; and

L1:(C) Resolving specific cases that involve unusual contract financing

L0:requirements.

L0:PGI 232.072 Financial responsibility of contractors.

L0:PGI 232.072-3 Cash flow forecasts.

L1:(d) Cash flow forecasts must?

L1:(1) Show the origin and use of all material amounts of cash within the entire

L0:business unit responsible for contract performance, period by period, for the length of

L0:the contract (or until the risk of a cash crisis ends); and

L1:(2) Provide an audit trail to the data and assumptions used to prepare it.

L1:(e) Cash flow forecasts can be no more reliable than the assumptions on which they

L0:are based. Most important of these assumptions are?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(1) Estimated amounts and timing of purchases and payments for materials,

L0:parts, components, subassemblies, and services;

L1:(2) Estimated amounts and timing of payments for purchase or production of

L0:capital assets, test facilities, and tooling;

L1:(3) Amounts and timing of fixed cash charges such as debt installments,

L0:interest, rentals, taxes, and indirect costs;

L1:(4) Estimated amounts and timing of payments for projected labor, both direct
L0:and indirect;

L1:(5) Reasonableness of projected manufacturing and production schedules;

L1:(6) Estimated amounts and timing of billings to customers (including progress
L0:payments), and customer payments;

L1:(7) Estimated amounts and timing of cash receipts from lenders or other credit
L0:sources, and liquidation of loans; and

L1:(8) Estimated amounts and timing of cash receipts from other sources.

L0:PGI 232.1?FINANCING FOR OTHER THAN A COMMERCIAL PURCHASE

L0:PGI 232.102 Description of contract financing methods.

L0:PGI 232.102-70 Provisional delivery payments.

L1:(a) The contracting officer may establish provisional delivery payments to pay

L0:contractors for the costs of supplies and services delivered to and accepted by the

L0:Government under the following contract actions, if undefinitized:

L1:(1) Letter contracts contemplating a fixed-price contract.

L1:(2) Orders under basic ordering agreements.

L1:(3) Spares provisioning documents annexed to contracts.

L1:(4) Unpriced equitable adjustments on fixed-price contracts.

L1:(5) Orders under indefinite-delivery contracts.

L1:(b) Provisional delivery payments must be?

L1:(1) Used sparingly;

L1:(2) Priced conservatively; and

L1:(3) Reduced by liquidating previous progress payments in accordance with the
L0:Progress Payments clause.

L1:(c) Provisional delivery payments must not?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(1) Include profit;

L1:(2) Exceed funds obligated for the undefinitized contract action; or

L1:(3) Influence the definitized contract price.

L0:PGI 232.4?ADVANCE PAYMENTS FOR OTHER THAN COMMERCIAL

L0:ACQUISITIONS

L0:PGI 232.409-1 Recommendation for approval.

L0:To ensure uniform application of this subpart (see FAR 32.402(e)(1)), the

L0:departmental/agency contract financing office shall prepare the documents required by

L0:FAR 32.409-1(e) and (f).

L0:PGI 232.410 Findings, determination, and authorization.

L0:If an advance payment procedure is used without a special bank account, replace

L0:paragraph (a)(4) of the Findings, Determination, and Authorization for Advance

L0:Payments at FAR 32.410 with:

L0:?(4) The proposed advance payment clause contains appropriate provisions as security

L0:for advance payments. These provisions include a requirement that the outstanding

L0:advance payments will be liquidated from cost reimbursements as they become due the

L0:contractor. This security is considered adequate to protect the interest of the Government?.

L0:PGI 232.5?PROGRESS PAYMENTS BASED ON COSTS

L0:PGI 232.501 General.

L0:PGI 232.501-2 Unusual progress payments.

L0:Unusual progress payment arrangements require the advance approval of the Principal

L0:Director, Defense Pricing, Contracting, and Acquisition Policy (DPCAP). Contracting

L0:officers must submit all unusual progress payment requests to the department or

L0:agency contract financing office for approval and submission to DPCAP.

L0:PGI 232.6--CONTRACT DEBTS

L0:PGI 232.603 Debt determination.

L0:Upon transfer of a case to the contract financing office, the contracting officer must

L0:close the debt record by reference to the date of transfer.

L0:PGI 232.604 Demand for payment.

L1:(1) For contract debts resulting from other than a termination for default, the office that

L0:first determines an amount due, whether it be the contract administration office, the

L0:contracting office, the disbursing office, or the selling office/agency, must?

L1:(i) Make a demand for payment; and

L1:(ii) Provide a copy of the demand to the payment office cited in the contract.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(2) For contract debts resulting from a termination for default, the contracting officer

L0:must make the demand and direct the debtor to make such payment to the designated

L0:office.

L0:PGI 232.670 Transfer of responsibility for debt collection.

L0:Disbursing officers will transfer responsibility for debt collection to department/agency

L0:contract financing offices in accordance with comptroller regulations. Notwithstanding

L0:the transfer of the debt collection responsibility, contracting officers must continue to

L0:provide assistance as requested by the debt collection office.

L0:PGI 232.671 Bankruptcy reporting.

L1:(1) For those debts covered by this subpart, the department or agency that awarded the

L0:contract must furnish the Department of Justice any claims in bankruptcy, insolvency, or in

L0:proceedings for reorganization or arrangement. Furnish claims that?

L1:(i) Have been transferred to a contract financing office;

L1:(ii) Are on the way to a contract financing office at the inception of bankruptcy or

L0:insolvency proceedings;

L1:(iii) Are pending and not forwarded to a contract financing office at the inception of

L0:bankruptcy or insolvency proceedings; and

L1:(iv) Are the result of bankruptcy or insolvency proceedings.

L1:(2) The contract financing office or other office designated within a department or

L0:agency will furnish proof of claims to the Department of Justice.

L1:(3) The office of origin of a debt will provide, as soon as possible, information on a

L0:bankruptcy, insolvency, reorganization, or rearrangement to the office designated within a

L0:department/agency to receive this information.

L1:(4) The information and proof of claim requirements in paragraphs (2) and (3) of this

L0:section do not apply to debts of less than \$600.

L0:PGI 232.10?PERFORMANCE-BASED PAYMENTS

L0:PGI 232.1001 Policy.

L1:(a) Contracting officer action. Performance-based payments are not practical for use on

L0:all fixed-price contracts because they require considerable effort between the contractor and

L0:Government to identify the appropriate performance-based payment events and establish

L0:the proper completion criteria for those events. Additionally, FAR 32.1003 prohibits contracts

L0:from having both progress payments and performance-based payment financing on a

L0:contract at the same time. Additional information and instruction on performance-based

L0:payments are provided in the DoD Performance-based Payments Guide on the Defense

L0:Pricing, Contracting, and Acquisition Policy (Price, Cost and Finance) website under Pricing

L0:Topics, Performance Based Payment. See

L0:<https://www.acq.osd.mil/asda/dpc/pcf/docs/resources->

L0:training/Performance_Based_Payment_(PBP)_Guide.pdf.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L0:PGI 232.70?ELECTRONIC SUBMISSION AND PROCESSING OF PAYMENT

L0:REQUESTS AND RECEIVING REPORTS

L0:PGI 232.7003 Procedures.

L1:(a) DoD officials receiving payment requests in electronic form must process the

L0:payment requests in electronic form. The WAWF system provides the method to

L0:electronically process payment requests and receiving reports.

L1:(1) Documents necessary for payment, such as receiving reports, invoice

L0:approvals, contracts, contract modifications, and required certifications, must be processed

L0:in electronic form.

L1:(2) Scanned documents and other commonly used file formats are only acceptable

L0:for processing supporting documentation.

L1:(b) If one of the exceptions to submission in electronic form at 232.7002(a) applies, the

L0:contracting officer must?

L1:(1) Consult the payment office and the contract administration office regarding the

L0:alternative method to be used for submission of payment requests or receiving reports (e.g.,

L0:facsimile or conventional mail); and

L1:(2) Provide procedures for invoicing in the contract administration data section of

L0:the contract or task or delivery order (e.g., section G, an addendum to FAR 52.212-4, or

L0:applicable clause) for submission of invoices by nonelectronic means. If submission of

L0:invoices by nonelectronic means is temporary, the procedures should specify the time period

L0:for which they apply.

L0:PGI 232.7004 Contract clause instructions.

L2:(b)(1) The clause 252.232-7006, Wide Area WorkFlow Payment Instructions must be

L0:located in the contract administration section of the contract (e.g. Section G).

L1:(2) Complete paragraph (f)(1)(ii)(A) of the clause, if applicable, by inserting one of

L0:the following document types appropriate to the work being performed:

L1:(i) Invoice and Receiving Report.

L1:(ii) Navy Shipbuilding Invoice?Fixed Price.

L1:(iii) Reparables Receiving Report (for repair services).

L1:(iv) Energy Invoice and Energy Receiving Report.

L1:(3) Complete paragraph (f)(1)(ii)(B) of the clause, if applicable, by inserting one of
L0:the following document types appropriate to the work being performed:

L1:(i) Invoice and Receiving Report.

L1:(ii) Invoice 2-in-1 (Services only).

L1:(iii) Construction and Facilities Management Invoice.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L1:(iv) Navy Construction/Facilities Management Invoice.

L1:(v) Telecom Invoice (Contractual).

L1:(4) Do not use the Combo selection for a receiving report.

L1:(5) Complete paragraph (f)(3) of the clause before contract award. Selection of

L0:applicable DoDAACs is dependent on the document type and the entitlement system used
L0:by the DoD Component.

L1:(i) To determine applicable DoDAACs, use the guidance for WAWF payment
L0:instructions at <https://piee.eb.mil/>.

L1:(ii) If a DoDAAC field is not listed in paragraph (f)(3) Routing Data Table, select
L0:Other DoDAAC(s)? and list the DoDAAC field name(s) as they appear in the WAWF
L0:system and applicable DoDAAC(s).

L1:(iii) When multiple ?Ship to? and inspection/acceptance locations? (i.e.
L0:DoDAACs) exist, enter ?See schedule.? The corresponding schedule in the contract/order
L0:must cite all applicable DoDAACs.

L1:(iv) Validate DoDAACs using the following resources:

L1:(A) For inspector, acceptor and local processing office roles, use
L0:<https://piee.eb.mil/> and click on the ?Active DoDAACs & Roles link? in the ?Help? section on
L0:the home page to validate active DoDAACs and user roles in WAWF.

L1:(B) For all other DoDAACs, use <https://www.daas.dla.mil/daasing/>.

L1:(6) Complete paragraph (g) by entering the WAWF point of contact information for
L0:the contracting activity, if applicable. List parties to be notified of document submission.

L0:PGI 232.71?LEVIES ON CONTRACT PAYMENTS

L0:PGI 232.7101 Policy and procedures.

L0:Background. The Internal Revenue Service (IRS) is authorized to collect overdue taxes
L0:through a continuous levy up to 100 percent of the debt on certain vendor contract
L0:payments disbursed by the Defense Finance and Accounting Service. The levy is
L0:continuous until the overdue taxes are paid in full, or other arrangements are made to
L0:satisfy the debt. Contractors are required to promptly notify the procuring contracting
L0:officer when a tax levy that may result in an inability to perform the contract is imposed,
L0:so that the contracting officer and the Principal Director, Defense Pricing, Contracting,
L0:and Acquisition Policy (DPCAP), can take appropriate action to mitigate any possible
L0:adverse effect on national security.

L1:(b) Procuring contracting officer procedures for reviewing the contractor?s rationale
L0:and submitting the required documentation.

L1:(i) When the procuring contracting officer receives notification from the
L0:contractor that the tax levy may result in an inability to perform the contract, the
L0:procuring contracting officer must promptly review the contractor?s assessment and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L0:either agree or disagree that the levy may result in an inability to perform. The

L0:procuring contracting officer must alert the administrative contracting officer and the

L0:cognizant contract auditor when a notice of levy has been received and must obtain any

L0:necessary assistance from the administrative contracting officer or contract auditor

L0:when performing this review.

L1:(ii) If the procuring contracting officer does not agree with the contractor's

L0:assessment, the procuring contracting officer must notify the contractor of this

L0:determination, and no further action will be taken.

L1:(iii) If the procuring contracting officer agrees with the contractor's assessment

L0:that the levy may result in an inability to perform the contract, the procuring contracting

L0:officer must document, in writing, whether the inability to perform?

L1:(A) Adversely affects national security; and/or

L1:(B) Will result in significant additional costs to the Government (e.g., cost of

L0:re-procurement, loss of contract financing payments when the product produced to date

L0:is not salvageable).

L1:(iv) If the procuring contracting officer believes that the levy will impact national

L0:security and/or result in significant additional costs to DoD, the procuring contracting

L0:officer must, in accordance with agency procedures, promptly notify the Principal

L0:Director, DPCAP, via email at osd.pentagon.ousd-a-s.mbx.asda-dp-c-

L0:contractpolicy@mail.mil. The notification to the Principal Director, DPCAP, must

L0:include?

L1:(A) The rationale supporting the recommendation that the levy may result in

L0:an inability to perform the contract;

L1:(B) A description of the adverse effect on national security, if applicable;

L0:and

L1:(C) A description and estimate of the additional costs to the Government, if

L0:applicable. Since prompt notification to the Principal Director, DPCAP, is essential, the

L0:procuring contracting officer should not delay the notification while trying to achieve

L0:more precise data.

L1:(c) Principal Director, DPCAP, procedures. The Principal Director, DPCAP, will

L0:promptly evaluate the procuring contracting officer's notification package.

L1:(i) If the Principal Director, DPCAP, disagrees with the recommendation of the

L0:procuring contracting officer, the Principal Director, DPCAP, will notify the procuring

L0:contracting officer through the same agency channels that were used for submission of

L0:the notification.

L1:(ii) If the Principal Director, DPCAP, agrees with the recommendation of the

L0:procuring contracting officer?

L1:(A) When there is an adverse effect on national security, the Principal

L0:Director, DPCAP, will notify the payment office, the IRS, and the procuring contracting

L0:officer that the total amount of the levy should be promptly returned to the contractor; or

L1:(B) When there is not an adverse effect on national security, but the levy will

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 32

L0:Defense FAR Supplement (DFARS) Part 232

L0:result in significant additional costs to DoD, the Principal Director, DPCAP, will promptly

L0:notify the procuring contracting officer and the IRS. The Principal Director, DPCAP,

L0:notification to the IRS will?

L1:(1) State that the procuring contracting officer has notified the

L0:contractor and has recommended that the contractor contact the IRS to resolve the

L0:situation;

L0:contractor; and

L1:(2) Request that the IRS expedite resolution of the situation with the

L0:contractor is unable to perform on the contract.

L1:(3) Include an estimate of additional costs to DoD that will result if the

L1:(d) Procuring contracting officer procedures for notifying the contractor of the

L0:decision of the Principal Director, DPCAP. The procuring contracting officer shall

L0:promptly notify the contractor, in writing, of the decision made by the Principal Director,

L0:DPCAP, including the actions to be taken (if any).

PART 33

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

233.170 Protested acquisitions valued at \$1 billion or more

Status: active

L0:233.170 Protested acquisitions valued at \$1 billion or more.

L0:Follow the procedures at PGI 233.170 for protested acquisitions valued at \$1 billion or
L0:more.

233.105 Protests to GAO

Status: active

L0:233.105 Protests to GAO.

233.105-370 Postaward

Status: active

L0:233.105-370 Postaward.

L0:Except as provided in FAR 33.105-3(b)(2) and (c), contracting officers must immediately
L0:suspend performance or terminate the award using the time periods in paragraphs (a)
L0:through (d) of this section, whichever is later, in lieu of the time periods in FAR 33.105-
L0:3(b)(1) if the agency receives notice of a protest from the GAO.

L1:(a) Ten days after the date of contract award.

L1:(b) Ten days after the date a task order or delivery order is issued, where the value
L0:exceeds \$25 million (10 U.S.C. 3406(f)).

L1:(c) Five days after a debriefing date offered to the protestor under a timely
L0:debriefing request in accordance with FAR 15.301 regardless of whether the protestor
L0:rejected the offered debriefing date, unless an earlier debriefing date is negotiated as a
L0:result.

L1:(d) Five days after a postaward debriefing under FAR 15.301 is concluded in
L0:accordance with 215.301-2.

233.171 Reporting requirement for protests of solicitations or awards

Status: active

L0:233.171 Reporting requirement for protests of solicitations or awards.

L0:Follow the procedures at PGI 233.171 for reporting information on protests involving

L0:the same contract award or proposed award that have been filed at both the GAO and
L0:the U.S. Court of Federal Claims.

233.205 Postaward

Status: active

L0:233.205 Postaward

233.205-70 Disputes clause

Status: active

L0:233.205-70 Disputes clause.

L0:Use Alternate I of the clause at FAR 52.233-1, Disputes, when?

L1:(a) The acquisition is for?

L1:(1) Aircraft;

L1:(2) Spacecraft and launch vehicles;

L1:(3) Naval vessels;

L1:(4) Missile systems;

L1:(5) Tracked combat vehicles; or

L1:(6) Related electronic systems; or

L1:(b) The contracting officer determines that continued performance is?

L1:(1) Vital to the national security, or

L1:(2) Vital to the public health and welfare; or

L1:(c) The head of the contracting activity determines that continued performance is

L0:necessary pending resolution of any claim that might arise under or be related to the

L0:contract.

233.205-5 Contracting officer's authority

Status: active

L0:233.205-5 Contracting officer's authority.

L0:See PGI 233.205-5 for guidance on reviewing a contractor's claim.

233.205-71 Additional contract clause

Status: active

L0:233.205-71 Additional contract clause.

L0:Insert the clause at 252.233-7001, Choice of Law (Overseas), in solicitations and

L0:contracts when contract performance will be outside the United States and its outlying

L0:areas, unless otherwise provided for in a government-to-government agreement.

252.233-7001 Choice of Law (Overseas)

L0:252.233-7001 Choice of Law (Overseas).

L0:As prescribed in 233.205-71, use the following clause:

L0:CHOICE OF LAW (OVERSEAS) (JUN 1997)

L0:This contract shall be construed and interpreted in accordance with the substantive
L0:laws of the United States of America. By the execution of this contract, the Contractor
L0:expressly agrees to waive any rights to invoke the jurisdiction of local national courts
L0:where this contract is performed and agrees to accept the exclusive jurisdiction of the
L0:United States Armed Services Board of Contract Appeals and the United States Court
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 33
L0:Defense FAR Supplement (DFARS) Part 233
L0:of Federal Claims for the hearing and determination of any and all disputes that may
L0:arise under the Disputes clause of this contract.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 33

L0:Defense FAR Supplement (DFARS) Part 233

L0:PGI 233.1?PROTESTS

L0:PGI 233.170 Protested acquisitions valued at \$1 billion or more.

L0:If a protest is filed against a competitively awarded Major Defense Acquisition Program
L0:or an acquisition of services valued at \$1 billion or more, the agency involved will brief
L0:the Principal Director, Defense Pricing, Contracting, and Acquisition Policy, within 10
L0:days of the filing. The briefing must outline?

L1:(a) The basis of the protest;

L1:(b) The agency's position; and

L1:(c) Any other information the agency deems relevant to the protest.

L0:PGI 233.171 Reporting requirement for protests of solicitations or awards.

L1:(a) The Protest Tracker on the Procurement Integrated Enterprise Environment

L1:(PIEE) (accessible at <https://piee.eb.mil/>) is the bid protest data repository required by

L0:Section 822(c) of the National Defense Authorization Act for Fiscal Year 2019 (Pub. L.

L0:115-232).

L1:(b) When protests involving the same contract or proposed award, valued at any
L0:amount, have been filed at both the Government Accountability Office and the U.S.

L0:Court of Federal Claims (COFC), the contracting officer will report the protest

L0:information required in the Protest Tracker no later than 10 days after the outcome of
L0:the protest at the COFC.

L1:(c) Instructions for reporting protest information in the Protest Tracker are available
L0:on the PIEE webpage.

L0:PGI 233.2?DISPUTES AND APPEALS

L0:PGI 233.205-5 Contracting officer's authority.

L0:When reviewing a claim, the contracting officer should obtain information on the contractor's

L0:previous claims. This history can reveal claim patterns and accuracy, and settlement

L0:outcomes. Potential sources of information include legal counsel, other contracting

L0:activities, and the Defense Contract Audit Agency.

PART 36

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

236.001 Definitions

Status: active

L0:236.001 Definitions.

L0:As used in this part?

L0:Marshallese firm means a local firm incorporated in the Marshall Islands, or otherwise

L0:legally organized under the laws of the Marshall Islands, that?

L1:(i) Is more than 50 percent owned by citizens of the Marshall Islands; or

L1:(ii) Complies with the following:

L1:(A) The firm has continuously operated in the Marshall Islands at least 3

L0:years before the solicitation date;

L1:(B) Most of the firm's directors of local operations, senior staff, and operating

L0:personnel are resident in the Marshall Islands or are U.S. citizens; and

L1:(C) Most of the operating equipment and physical plant are in the Marshall

L0:Islands.

L0:United States firm is defined in the provisions at 252.236-7010, Overseas Military

L0:Construction--Preference for United States Firms, and 252.236-7011, Overseas

L0:Architect-Engineer Services--Restriction to United States Firms.

236.002 Policy

Status: active

L0:236.002 Policy.

L0:See Part 237 for policy relating to facilities projects.

236.101 Construction

Status: active

L0:236.101 Construction

236.101-1 Acquisition Strategy

Status: active

L0:236.101-1 Acquisition Strategy

L1:(1) For contracts in connection with a military construction project or military

L0:family housing project, see the prohibition at 216.301-3.

L1:(2) If funding may not be available for all of the desired construction features,

L0:consider using a bid schedule with additive or deductive items in accordance with PGI

L0:236.101-1.

L1:(3) Annual military construction appropriations acts restrict the use of cost-plus-

L0:fixed-fee contracts (see 216.304-2). See also 216.301-3 regarding the prohibition against

L0:the use of certain cost-reimbursement contracts in connection with a military

L0:construction project or military family housing project.

L1:(4) In accordance with section 108 of the Military Construction and Veterans Affairs

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

L0:Appropriations Act, 2009 (Pub. L. 110-329, Division E) and the same provision in

L0:subsequent military construction appropriations acts, do not acquire, or allow a

L0:contractor to acquire, steel for any construction project or activity for which American

L0:steel producers, fabricators, or manufacturers have been denied the opportunity to

L0:compete for such acquisition of steel.

236.101-2 Use of two-phase design-build selection procedures

Status: active

L0:236.101-2 Use of two-phase design-build selection procedures.

L2:(a)(4) In lieu of the limitations on the maximum number of offerors that may be

L0:selected to submit phase-two proposals at FAR 36.101-2(b)(4), for DoD?

L1:(i) If the contract value exceeds \$5.5 million, the solicitation must limit

L0:phase-two proposals to no more than five offerors, unless?

L0:quantity contract for design-build construction; or

L1:(A) The solicitation is issued for an indefinite-delivery indefinite-

L1:(B) The head of the contracting activity, delegable to a level no lower

L0:than the senior contracting official within the contracting activity, approves the

L0:contracting officer's decision with respect to an individual solicitation, that a maximum

L0:number greater than five is in the best interest of the Government and is consistent

L0:with the purposes and objectives of the two-phase selection procedures. The decision

L0:must be documented in the contract file (10 U.S.C. 3241(d)).

L1:(ii) If the contract value is at or below \$5.5 million, the solicitation must

L0:specify the maximum number of offerors allowed to submit phase-two proposals, based

L0:upon the contracting officer's discretion.

236.101-4 Advance notices and solicitations

Status: active

L0:236.101-4 Advance notices and solicitations.

L0:See PGI 236.101-4 for instructions on reporting data for definitization of requests for

L0:equitable adjustment.

236.101-5 Liquidated damages

Status: active

L0:236.101-5 Liquidated damages.

L0:See 211.4 for instructions on use of liquidated damages.

236.101-6 Government cost estimate

Status: active

L0:236.101-6 Government cost estimate.

L0:Follow the procedures at PGI 236.101-6 for handling the Government estimate of

L0:construction costs.

236.101-70 Prequalification of sources

Status: active

L0:236.101-70 Prequalification of sources.

L1:(a) Prequalification procedures may be used when necessary to ensure timely and

L0:efficient performance of critical construction projects. Prequalification?

L1:(1) Results in a list of sources determined to be qualified to perform a specific

L0:construction contract; and

L1:(2) Limits offerors to those with proven competence to perform in the required

L0:manner.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

L1:(b) The head of the contracting activity must?

L1:(1) Authorize the use of prequalification by determining, in writing, that a

L0:construction project is of an urgency or complexity that requires prequalification; and

L1:(2) Approve the prequalification procedures.

L1:(c) For small businesses, the prequalification procedures must require the

L0:qualifying authority to?

L1:(1) Request a preliminary recommendation from the appropriate Small Business

L0:Administration regional office if the qualifying authority believes a small business is not

L0:responsible;

L1:(2) Permit the small business to submit a bid or proposal if the preliminary

L0:recommendation is that the small business is responsible; and

L1:(3) Follow the procedures in FAR 19.6 if the small business is in line for award

L0:and is found nonresponsible.

236.101-71 Clauses

Status: active

L0:236.101-71 Clauses.

L1:(a) Insert the following clauses in all fixed-price construction solicitations and
L0:contracts?

L1:(1) 252.236-7000, Modification Proposals?Price Breakdown; and

L1:(2) 252.236-7001, Contract Drawings and Specifications.

L1:(b) Insert the following provisions and clauses in fixed-price construction contracts

L0:and solicitations as applicable?

L1:(1) 252.236-7002, Obstruction of Navigable Waterways, when the contract will

L0:involve work near or on navigable waterways.

L1:(2) When the head of the contracting activity has approved use of a separate bid

L0:item for mobilization and preparatory work, insert either?

L1:(i) 252.236-7003, Payment for Mobilization and Preparatory Work. Use this

L0:clause for major construction contracts that require?

L1:(A) Major or special items of plant and equipment; or

L1:(B) Large stockpiles of material which are in excess of the type, kind,

L0:and quantity which would be normal for a contractor qualified to undertake the work;

L0:or

L1:(ii) 252.236-7004, Payment for Mobilization and Demobilization. Use this

L0:clause for contracts involving major mobilization expense, or plant equipment and

L0:material (other than the situations covered in paragraph (b)(2)(i) of this section) made

L0:necessary by the location or nature of the work.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

L1:(a) of the clause to the cost of mobilization.

L1:(A) Generally, allocate 60 percent of the lump sum price in paragraph

L0:contract, but in no event should mobilization exceed 80 percent of the payment item.

L1:(B) Vary this percentage to reflect the circumstances of the particular

L1:(3) 252.236-7005, Airfield Safety Precautions, when construction will be

L0:performed on or near airfields.

L1:(4) 252.236-7006, Cost Limitation, if the solicitation's bid schedule contains one

L0:or more items subject to statutory cost limitations, and if a waiver has not been granted

L0:(FAR 36.205).

L1:(5) 252.236-7007, Additive or Deductive Items, if the procedures in 236.101-1(2)

L0:are being used.

L1:(6) 252.236-7008, Contract Prices?Bidding Schedule, if the contract will

L0:contain only unit prices for some items.

L1:(c) Insert the following provisions in solicitations for military construction contracts

L0:that are funded with military construction appropriations and are estimated to exceed

L0:\$1,000,000:

L1:(1) 252.236-7010, Overseas Military Construction?Preference for United

L0:States Firms, when contract performance will be in a United States outlying area in the

L0:Pacific or in a country bordering the Arabian Gulf.

L1:(2) 252.236-7012, Military Construction on Kwajalein Atoll?Evaluation

L0:Preference, when contract performance will be on Kwajalein Atoll.

L1:(d) Insert the clause at 252.236-7013, Requirement for Competition Opportunity for

L0:American Steel Producers, Fabricators, and Manufacturers, in solicitations and
L0:contracts that?

L1:(1) Use funds appropriated for military construction; and

L1:(2) May require the acquisition of steel as a construction material.

L1:(e) When performing construction contracts in Germany, also insert the clause

L0:prescribed at 246.710(4).

236.102 Architect-Engineer Services

Status: active

L0:236.102 Architect-Engineer Services

236.102-3 Government cost estimate

Status: active

L0:236.102-3 Government cost estimate.

L0:See 236.101-6.

236.102-470 Clauses

Status: active

L0:236.102-470 Clauses.

L0:Insert the provision at 252.236-7011, Overseas Architect-Engineer Services--Restriction

L0:to United States Firms, in solicitations for architect-engineer contracts that are?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

L1:(a) Funded with military construction appropriations;

L1:(b) Estimated to exceed \$500,000; and

L1:(c) To be performed in Japan, in any North Atlantic Treaty Organization member

L0:country, or in countries bordering the Arabian Gulf.

236.102-570 Notice

Status: active

L0:236.102-570 Notice.

L0:Written notification to the congressional defense committees is required if the total

L0:estimated contract price for architect-engineer services or construction design, in

L0:connection with military construction, military family housing, or restoration or

L0:replacement of damaged or destroyed facilities, exceeds \$1.5 million. In accordance

L0:with 10 U.S.C. 480, unclassified notifications must be provided by electronic medium.

L0:See PGI 236.102-70.

L1:(a) For military construction or military family housing (10 U.S.C. 2807(b)), the

L0:notification?

L1:(1) Must include the scope of the project and the estimated contract price; and

L2:(2)(i) If provided by electronic medium, must be provided at least 14 days before

L0:the initial obligation of funds; or

L1:(ii) If provided by other than electronic medium, must be received by the

L0:congressional defense committees at least 21 days before the initial obligation of funds.

L1:(b) For restoration or replacement of damaged or destroyed facilities (10 U.S.C.

L0:2854(b)), the notification?

L1:(1) Must include the justification for the project, the estimated contract price,

L0:and the source of the funds for the project; and

L2:(2)(i) If provided by electronic medium, must be provided at least 7 days before

L0:the initial obligation of funds; or

L1:(ii) If provided by other than electronic medium, must be received by the

L0:congressional defense committees at least 21 days before the initial obligation of funds.

236.201 Construction

Status: active

L0:236.201 Construction.

236.201-170 Construction in foreign countries

Status: active

L0:236.201-170 Construction in foreign countries.

L1:(a) In accordance with section 112 of the Military Construction and Veterans

L0:Affairs and Related Agencies Appropriations Act, 2015 (Division I of Pub. L. 113-

L0:235) and the same provision in subsequent military construction appropriations

L0:acts, military construction contracts funded with military construction

L0:appropriations, that are estimated to exceed \$1,000,000 and are to be performed in

L0:the United States outlying areas in the Pacific and on Kwajalein Atoll, or in

L0:countries bordering the Arabian Gulf (i.e., Iran, Oman, United Arab Emirates,

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

L0:Saudi Arabia, Qatar, Bahrain, Kuwait, and Iraq), must be awarded only to United

L0:States firms, unless?

L1:(1) The lowest responsive and responsible offer of a United States firm exceeds

L0:the lowest responsive and responsible offer of a foreign firm by more than 20 percent; or

L1:(2) The contract is for military construction on Kwajalein Atoll and the lowest

L0:responsive and responsible offer is submitted by a Marshallese firm.

L1:(b) See PGI 236.201-170(b) for guidance on technical working agreements with

L0:foreign governments.

236.202 Architect and engineering services

Status: active

L0:236.202 Architect and engineering services.

236.202-1 Evaluation

Status: active

L0:236.202-1 Evaluation

L0:See PGI 236.202-1 for additional guidance on the development of architect-engineer services evaluation criteria.

236.202-370 Award

Status: active

L0:236.202-370 Award

L0:In accordance with section 111 of the Military Construction and Veterans Affairs and Related Agencies Appropriations Act, 2015 (Division I of Pub. L. 113-235) and the same provision in subsequent military construction appropriations acts, architect-engineer contracts funded by military construction appropriations that are estimated to exceed \$500,000 and are to be performed in Japan, in any North Atlantic Treaty Organization member country, or in countries bordering the Arabian Gulf (i.e., Iran, Oman, United Arab Emirates, Saudi Arabia, Qatar, Bahrain, Kuwait, and Iraq), must be awarded only to United States firms or to joint ventures of United States and host nation firms.

236.202-371 Statutory Fee Limitation

Status: active

L0:236.202-371 Statutory Fee Limitation

L1:(a) The statutes at 10 U.S.C. 7540, 8612, and 9540, for the Departments of the Army, Navy, and Air Force, respectively, limit the contract price (or fee) for architect-engineer services for the preparation of designs, plans, drawings, and specifications to 10 percent of the project's estimated construction cost. (See PGI **L0:236.202-371**).

L1:(b) The 10 percent limit also applies to contract modifications, including modifications involving?

L1:(1) Work not initially included in the contract; apply the 10 percent limit to the revised total estimated construction cost; and

L1:(2) Redesign work; apply the 10 percent limit by?

L1:(i) Adding the estimated construction cost of the redesign features to the original estimated construction cost;

L1:(ii) Adding the contract cost for the original design to the contract cost for redesign; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

L1:(iii) Dividing the total contract design cost by the total estimated

L0:construction cost. The resulting percentage may not exceed the 10 percent statutory

L0:limitation.

L1:(c) The 10 percent limit applies only to that portion of the contract (or modification)

L0:price attributable to the preparation of designs, plans, drawings, and specifications. If a

L0:contract or modification also includes other services, the part of the price attributable to

L0:the other services is not subject to the 10 percent limit.

236.370 Expediting construction contracts

Status: active

L0:236.370 Expediting construction contracts.

L0:10 U.S.C. 2858 requires agency head approval to expedite the completion date of a

L0:contract funded by a Military Construction Appropriations Act, if additional costs are

L0:involved. This approval authority may not be redelegated. The approval authority

L0:must?

L1:(a) Certify that the additional expenditures are necessary to protect the National

L0:interest; and

L1:(b) Establish a reasonable completion date for the project.

236.371 Architect-Engineer post construction evaluation

Status: active

L0:236.371 Architect-Engineer post construction evaluation.

L0:See PGI 236.371 for guidance on additional Architect-Engineer performance

L0:evaluations.

252.236-7000 Modification Proposals--Price Breakdown

Status: active

L0:252.236-7000 Modification Proposals--Price Breakdown.

L0:As prescribed in 236.101-71(a)(1), use the following clause:

L0:MODIFICATION PROPOSALS--PRICE BREAKDOWN (DEC 1991)

L1:(a) The Contractor shall furnish a price breakdown, itemized as required and within

L0:the time specified by the Contracting Officer, with any proposal for a contract

L0:modification.

L1:(b) The price breakdown?

L1:(1) Must include sufficient detail to permit an analysis of profit, and of all costs

L0:for?

L1:(i) Material;

L1:(ii) Labor;

L1:(iii) Equipment;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

L1:(iv) Subcontracts; and

L1:(v) Overhead; and

L1:(2) Must cover all work involved in the modification, whether the work was

L0:deleted, added, or changed.

L1:(c) The Contractor shall provide similar price breakdowns to support any amounts

L0:claimed for subcontracts.

L1:(d) The Contractor's proposal shall include a justification for any time extension

L0:proposed.

252.236-7001 Contract Drawings and Specifications

Status: active

L0:252.236-7001 Contract Drawings and Specifications.

L0:As prescribed in 236.101-71(a)(2), use the following clause:

L0:(End of clause)

L0:CONTRACT DRAWINGS AND SPECIFICATIONS (AUG 2000)

L1:(a) The Government will provide to the Contractor, without charge, one set of

L0:contract drawings and specifications, except publications incorporated into the technical

L0:provisions by reference, in electronic or paper media as chosen by the Contracting

L0:Officer.

L1:(b) The Contractor shall?

L1:(1) Check all drawings furnished immediately upon receipt;

L1:(2) Compare all drawings and verify the figures before laying out the work;

L1:(3) Promptly notify the Contracting Officer of any discrepancies;

L1:(4) Be responsible for any errors that might have been avoided by complying

L0:with this paragraph (b); and

L1:(5) Reproduce and print contract drawings and specifications as needed.

L1:(c) In general--

L1:(1) Large-scale drawings shall govern small-scale drawings; and

L1:(2) The Contractor shall follow figures marked on drawings in preference to

L0:scale measurements.

L1:(d) Omissions from the drawings or specifications or the misdescription of details of

L0:work that are manifestly necessary to carry out the intent of the drawings and

L0:specifications, or that are customarily performed, shall not relieve the Contractor from

L0:performing such omitted or misdescribed details of the work. The Contractor shall

L0:perform such details as if fully and correctly set forth and described in the drawings and

L0:specifications.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

L1:(e) The work shall conform to the specifications and the contract drawings identified

L0:on the following index of drawings:

L0:Title
L0:File
L0:Drawing No.

252.236-7002 Obstruction of Navigable Waterways

Status: active

L0:252.236-7002 Obstruction of Navigable Waterways.

L0:As prescribed in 236.101-71(b)(1), use the following clause:

L0:(End of clause)

L0:OBSTRUCTION OF NAVIGABLE WATERWAYS (DEC 1991)

L1:(a) The Contractor shall?

L1:(1) Promptly recover and remove any material, plant, machinery, or appliance

L0:which the contractor loses, dumps, throws overboard, sinks, or misplaces, and which, in

L0:the opinion of the Contracting Officer, may be dangerous to or obstruct navigation;

L1:(2) Give immediate notice, with description and locations of any such

L0:obstructions, to the Contracting Officer; and

L1:(3) When required by the Contracting Officer, mark or buoy such obstructions

L0:until the same are removed.

L1:(b) The Contracting Officer may?

L1:(1) Remove the obstructions by contract or otherwise should the Contractor

L0:refuse, neglect, or delay compliance with paragraph (a) of this clause; and

L1:(2) Deduct the cost of removal from any monies due or to become due to the

L0:Contractor; or

L1:(3) Recover the cost of removal under the Contractor's bond.

L1:(c) The Contractor's liability for the removal of a vessel wrecked or sunk without

L0:fault or negligence is limited to that provided in Sections 15, 19, and 20 of the River and

L0:Harbor Act of March 3, 1899 (33 U.S.C. 410 et.seq.).

L0:(End of clause)

252.236-7003 Payment for Mobilization and Preparatory Work

Status: active

L0:252.236-7003 Payment for Mobilization and Preparatory Work.

L0:As prescribed in 236.101-71(b)(2), use the following clause:

L0:PAYMENT FOR MOBILIZATION AND PREPARATORY WORK (JAN 1997)

L1:(a) The Government will make payment to the Contractor under the procedures in

L0:this clause for mobilization and preparatory work under item no. _____.

L1:(b) Payments will be made for actual payments by the Contractor on work

L0:preparatory to commencing actual work on the construction items for which payment is

L0:provided under the terms of this contract, as follows?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

L1:(1) For construction plant and equipment exceeding \$25,000 in value per unit
L0:(as appraised by the Contracting Officer at the work site) acquired for the execution of
L0:the work;

L1:(2) Transportation of all plant and equipment to the site;

L1:(3) Material purchased for the prosecution of the contract, but not to be
L0:incorporated in the work;

L1:(4) Construction of access roads or railroads, camps, trailer courts, mess halls,
L0:dormitories or living quarters, field headquarters facilities, and construction yards;

L1:(5) Personal services; and

L1:(6) Hire of plant.

L1:(c) Requests for payment must include?

L1:(1) An account of the Contractor's actual expenditures;

L1:(2) Supporting documentation, including receipted bills or copies of payrolls and
L0:freight bills; and

L1:(3) The Contractor's documentation?

L1:(i) Showing that it has acquired the construction plant, equipment, and
L0:material free from all encumbrances;

L1:(ii) Agreeing that the construction plant, equipment, and material will not
L0:be removed from the site without the written permission of the Contracting Officer; and

L1:(iii) Agreeing that structures and facilities prepared or erected for the
L0:prosecution of the contract work will be maintained and not dismantled prior to the
L0:completion and acceptance of the entire work, without the written permission of the
L0:Contracting Officer.

L1:(d) Upon receiving a request for payment, the Government will make payment, less
L0:any prescribed retained percentage, if?

L1:(1) The Contracting Officer finds the?

L1:(i) Construction plant, material, equipment, and the mobilization and
L0:preparatory work performed are suitable and necessary to the efficient prosecution of
L0:the contract; and

L1:(ii) Preparatory work has been done with proper economy and efficiency.

L1:(2) Payments for construction plant, equipment, material, and structures and
L0:facilities prepared or erected for prosecution of the contract work do not exceed?

L1:(i) The Contractor's cost for the work performed less the estimated value
L0:upon completion of the contract; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36
L0:Defense FAR Supplement (DFARS) Part 236

L1:(ii) 100 percent of the cost to the contractor of any items having no
L0:appreciable salvage value; and

L1:(iii) 75 percent of the cost to the contractor of items which do have an
L0:appreciable salvage value.

L2:(e)(1) Payments will continue to be made for item no. _____, and all
L0:payments will be deducted from the contract price for this item, until the total
L0:deductions reduce this item to zero, after which no further payments will be made
L0:under this item.

L1:(2) If the total of payments so made does not reduce this item to zero, the

L0:balance will be paid to the Contractor in the final payment under the contract.

L1:(3) The retained percentage will be paid in accordance with the Payments to

L0:Contractor clause of this contract.

L1:(f) The Contracting Officer shall determine the value and suitability of the

L0:construction plant, equipment, materials, structures and facilities. The Contracting

L0:Officer's determinations are not subject to appeal.

252.236-7004 Payment for Mobilization and Demobilization

Status: active

L0:252.236-7004 Payment for Mobilization and Demobilization.

L0:As prescribed in 236.101-71(b)(2), use the following clause:

L0:(End of clause)

L0:PAYMENT FOR MOBILIZATION AND DEMOBILIZATION (DEC 1991)

L1:(a) The Government will pay all costs for the mobilization and demobilization of all

L0:of the Contractor's plant and equipment at the contract lump sum price for this item.

L1:(1) _____ percent of the lump sum price upon completion of the contractor's

L0:mobilization at the work site.

L1:(2) The remaining _____ percent upon completion of demobilization.

L1:(b) The Contracting Officer may require the Contractor to furnish cost data to

L0:justify this portion of the bid if the Contracting Officer believes that the percentages in

L0:paragraphs (a)(1) and (2) of this clause do not bear a reasonable relation to the cost of

L0:the work in this contract.

L1:(1) Failure to justify such price to the satisfaction of the Contracting Officer will

L0:result in payment, as determined by the Contracting Officer, of?

L1:(i) Actual mobilization costs at completion of mobilization;

L1:(ii) Actual demobilization costs at completion of demobilization; and

L1:(iii) The remainder of this item in the final payment under this contract.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

L1:(2) The Contracting Officer's determination of the actual costs in paragraph

L2:(b)(1) of this clause is not subject to appeal.

L0:(End of clause)

252.236-7005 Airfield Safety Precautions

Status: active

L0:252.236-7005 Airfield Safety Precautions.

L0:As prescribed in 236.101-71(b)(3), use the following clause. At some airfields, the width

L0:of the primary surface is 1,500 feet (750 feet on each side of the runway centerline). In

L0:such instances, substitute the proper width in the clause.

L0:AIRFIELD SAFETY PRECAUTIONS (DEC 1991)

L1:(a) Definitions. As used in this clause?

L1:(1) ?Landing areas? means?

L1:(i) The primary surfaces, comprising the surface of the runway, runway

L0:shoulders, and lateral safety zones. The length of each primary surface is the same as

L0:the runway length. The width of each primary surface is 2,000 feet (1,000 feet on each

L0:side of the runway centerline);

L1:(ii) The ?clear zone? beyond the ends of each runway, i.e., the extension of

L0:the primary surface for a distance of 1,000 feet beyond each end of each runway;

L1:(iii) All taxiways, plus the lateral clearance zones along each side for the

L0:length of the taxiways (the outer edge of each lateral clearance zone is laterally 250 feet

L0:from the far or opposite edge of the taxiway, e.g., a 75-foot-wide taxiway would have a

L0:combined width of taxiway and lateral clearance zones of 425 feet); and

L1:(iv) All aircraft parking aprons, plus the area 125 feet in width extending

L0:beyond each edge all around the aprons.

L1:(2) ?Safety precaution areas? means those portions of approach-departure

L0:clearance zones and transitional zones where placement of objects incident to contract

L0:performance might result in vertical projections at or above the approach-departure

L0:clearance, or the transitional surface.

L1:(i) The ?approach-departure clearance surface? is an extension of the

L0:primary surface and the clear zone at each end of each runway, for a distance of 50,000

L0:feet, first along an inclined (glide angle) and then along a horizontal plane, both flaring

L0:symmetrically about the runway centerline extended.

L1:(A) The inclined plane (glide angle) begins in the clear zone 200 feet

L0:past the end of the runway (and primary surface) at the same elevation as the end of

L0:the runway. It continues upward at a slope of 50:1 (1 foot vertically for each 50 feet

L0:horizontally) to an elevation of 500 feet above the established airfield elevation. At that

L0:point the plane becomes horizontal, continuing at that same uniform elevation to a

L0:point 50,000 feet longitudinally from the beginning of the inclined plane (glide angle)

L0:and ending there.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

L1:(B) The width of the surface at the beginning of the inclined plane (glide

L0:angle) is the same as the width of the clear zone. It then flares uniformly, reaching the

L0:maximum width of 16,000 feet at the end.

L1:(ii) The ?approach-departure clearance zone? is the ground area under the

L0:approach-departure clearance surface.

L1:(iii) The ?transitional surface? is a sideways extension of all primary

L0:surfaces, clear zones, and approach-departure clearance surfaces along inclined planes.

L1:(A) The inclined plane in each case begins at the edge of the surface.

L0:7 feet horizontally). It continues to the point of intersection with the?

L1:(B) The slope of the incline plane is 7:1 (1 foot vertically for each

L0:150 feet above the established airfield elevation); or

L1:(1) Inner horizontal surface (which is the horizontal plane

L0:500 feet above the established airfield elevation), whichever is applicable.

L1:(2) Outer horizontal surface (which is the horizontal plane

L1:(iv) The ?transitional zone? is the ground area under the transitional

L0:surface. (It adjoins the primary surface, clear zone, and approach-departure clearance
L0:zone.)

L1:(b) General.

L1:(1) The Contractor shall comply with the requirements of this clause while?

L1:(i) Operating all ground equipment (mobile or stationary);

L1:(ii) Placing all materials; and

L1:(iii) Performing all work, upon and around all airfields.

L1:(2) The requirements of this clause are in addition to any other safety

L0:requirements of this contract.

L1:(c) The Contractor shall?

L1:(1) Report to the Contracting Officer before initiating any work;

L1:(2) Notify the Contracting Officer of proposed changes to locations and

L0:operations;

L1:(3) Not permit either its equipment or personnel to use any runway for

L0:purposes other than aircraft operation without permission of the Contracting Officer,

L0:unless the runway is?

L1:(i) Closed by order of the Contracting Officer; and

L1:(ii) Marked as provided in paragraph (d)(2) of this clause;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

L1:(4) Keep all paved surfaces, such as runways, taxiways, and hardstands, clean

L0:at all times and, specifically, free from small stones which might damage aircraft

L0:propellers or jet aircraft;

L1:(5) Operate mobile equipment according to the safety provisions of this clause,

L0:while actually performing work on the airfield. At all other times, the Contractor shall

L0:remove all mobile equipment to locations?

L1:(i) Approved by the Contracting Officer;

L1:(ii) At a distance of at least 750 feet from the runway centerline, plus any

L0:additional distance; and

L1:(iii) Necessary to ensure compliance with the other provisions of this clause;

L0:and

L1:(6) Not open a trench unless material is on hand and ready for placing in the

L0:trench. As soon as practicable after material has been placed and work approved, the

L0:Contractor shall backfill and compact trenches as required by the contract. Meanwhile,

L0:all hazardous conditions shall be marked and lighted in accordance with the other

L0:provisions of this clause.

L1:(d) Landing areas. The Contractor shall?

L1:(1) Place nothing upon the landing areas without the authorization of the

L0:Contracting Officer;

L1:(2) Outline those landing areas hazardous to aircraft, using (unless otherwise

L0:authorized by the Contracting Officer) red flags by day, and electric, battery-operated

L0:low-intensity red flasher lights by night;

L1:(3) Obtain, at an airfield where flying is controlled, additional permission from

L0:the control tower operator every time before entering any landing area, unless the

L0:landing area is marked as hazardous in accordance with paragraph (d)(2) of this clause;

L1:(4) Identify all vehicles it operates in landing areas by means of a flag on a staff
L0:attached to, and flying above, the vehicle. The flag shall be three feet square, and
L0:consist of a checkered pattern of international orange and white squares of 1 foot on
L0:each side (except that the flag may vary up to ten percent from each of these
L0:dimensions);

L1:(5) Mark all other equipment and materials in the landing areas, using the
L0:same marking devices as in paragraph (d)(2) of this clause; and

L1:(6) Perform work so as to leave that portion of the landing area which is
L0:available to aircraft free from hazards, holes, piles of material, and projecting shoulders
L0:that might damage an airplane tire.

L1:(e) Safety precaution areas. The Contractor shall?
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36
L0:Defense FAR Supplement (DFARS) Part 236

L1:(1) Place nothing upon the safety precaution areas without authorization of the
L0:Contracting Officer;

L1:(2) Mark all equipment and materials in safety precaution areas, using (unless
L0:otherwise authorized by the Contracting Officer) red flags by day, and electric, battery-
L0:operated, low-intensity red flasher lights by night; and

L1:(3) Provide all objects placed in safety precaution areas with a red light or red
L0:lantern at night, if the objects project above the approach-departure clearance surface
L0:or above the transitional surface.

L0:(End of clause)

252.236-7006 Cost Limitation

Status: active

L0:252.236-7006 Cost Limitation.

L0:As prescribed in 236.101-71(b)(4), use the following provision:

L0:COST LIMITATION (JAN 1997)

L1:(a) Certain items in this solicitation are subject to statutory cost limitations. The
L0:limitations are stated in the Schedule.

L1:(b) An offer which does not state separate prices for the items identified in the
L0:Schedule as subject to a cost limitation may be considered nonresponsive.

L1:(c) Prices stated in offers for items subject to cost limitations shall include an
L0:appropriate apportionment of all costs, direct and indirect, overhead, and profit.

L1:(d) Offers may be rejected which?

L1:(1) Are materially unbalanced for the purpose of bringing items within cost
L0:limitations; or

L1:(2) Exceed the cost limitations, unless the limitations have been waived by the
L0:Government prior to award.

L0:(End of provision)

252.236-7007 Additive or Deductive Items

L0:252.236-7007 Additive or Deductive Items.

L0:As prescribed in 236.101-71(b)(5), use the following provision:

L0:ADDITIVE OR DEDUCTIVE ITEMS (DEC 1991)

L1:(a) The low offeror and the items to be awarded shall be determined as follows?

L1:(1) Prior to the opening of bids, the Government will determine the amount of

L0:funds available for the project.

L1:(2) The low offeror shall be the Offeror that?

L1:(i) Is otherwise eligible for award; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

L1:(ii) Offers the lowest aggregate amount for the first or base bid item, plus or

L0:minus (in the order stated in the list of priorities in the bid schedule) those additive or

L0:deductive items that provide the most features within the funds determined available.

L1:(3) The Contracting Officer shall evaluate all bids on the basis of the same

L0:additive or deductive items.

L1:(i) If adding another item from the bid schedule list of priorities would make

L0:the award exceed the available funds for all offerors, the Contracting Officer will skip

L0:that item and go to the next item from the bid schedule of priorities; and

L1:(ii) Add that next item if an award may be made that includes that item and

L0:is within the available funds.

L1:(b) The Contracting Officer will use the list of priorities in the bid schedule only to

L0:determine the low offeror. After determining the low offeror, an award may be made on

L0:any combination of items if?

L1:(1) It is in the best interest of the Government;

L1:(2) Funds are available at the time of award; and

L1:(3) The low offeror's price for the combination to be awarded is less than the

L0:price offered by any other responsive, responsible offeror.

L1:(c) Example. The amount available is \$100,000. Offeror A's base bid and four

L0:additives (in the order stated in the list of priorities in the bid Schedule) are \$85,000,

L0:\$10,000, \$8,000, \$6,000, and \$4,000. Offeror B's base bid and four additives are

L0:\$80,000, \$16,000, \$9,000, \$7,000, and \$4,000. Offeror A is the low offeror. The

L0:aggregate amount of offeror A's bid for purposes of award would be \$99,000, which

L0:includes a base bid plus the first and fourth additives. The second and third additives

L0:were skipped because each of them would cause the aggregate bid to exceed \$100,000.

252.236-7008 Contract Prices--Bidding Schedules

L0:252.236-7008 Contract Prices--Bidding Schedules.

L0:As prescribed in 236.101-71(b)(6), use the following provision:

L0:(End of provision)

L0:CONTRACT PRICES--BIDDING SCHEDULES (DEC 1991)

L1:(a) The Government's payment for the items listed in the Bidding Schedule shall

L0:constitute full compensation to the Contractor for?

L1:(1) Furnishing all plant, labor, equipment, appliances, and materials; and

L1:(2) Performing all operations required to complete the work in conformity with

L0:the drawings and specifications.

L1:(b) The Contractor shall include in the prices for the items listed in the Bidding

L0:Schedule all costs for work in the specifications, whether or not specifically listed in the

L0:Bidding Schedule.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

252.236-7009 Reserved

Status: active

L0:252.236-7009 Reserved.

L0:(End of provision)

252.236-7010 Overseas Military Construction--Preference for United States

Status: active

L0:252.236-7010 Overseas Military Construction--Preference for United States

L0:Firms.

L0:As prescribed in 236.101-71(c)(1), use the following provision:

L0:OVERSEAS MILITARY CONSTRUCTION--PREFERENCE FOR

L0:UNITED STATES FIRMS (JAN 1997)

L1:(a) Definition. "United States firm," as used in this provision, means a firm

L0:incorporated in the United States that complies with the following:

L1:(1) The corporate headquarters are in the United States;

L1:(2) The firm has filed corporate and employment tax returns in the United

L0:States for a minimum of 2 years (if required), has filed State and Federal income tax

L0:returns (if required) for 2 years, and has paid any taxes due as a result of these filings;

L0:and

L1:(3) The firm employs United States citizens in key management positions.

L1:(b) Evaluation. Offers from firms that do not qualify as United States firms will be

L0:evaluated by adding 20 percent to the offer.

L1:(c) Status. The offeror _____ is, _____ is not a United States firm.

L0:(End of provision)

252.236-7011 Overseas Architect-Engineer Services--Restriction to United

Status: active

L0:252.236-7011 Overseas Architect-Engineer Services--Restriction to United

L0:States Firms.

L0:As prescribed in 236.102-470, use the following provision:

L0:OVERSEAS ARCHITECT-ENGINEER SERVICES--RESTRICTION TO

L0:UNITED STATES FIRMS (JAN 1997)

L1:(a) Definition. ?United States firm,? as used in this provision, means a firm

L0:incorporated in the United States that complies with the following:

L1:(1) The corporate headquarters are in the United States;

L1:(2) The firm has filed corporate and employment tax returns in the United

L0:States for a minimum of 2 years (if required), has filed State and Federal income tax

L0:returns (if required) for 2 years, and has paid any taxes due as a result of these filings;

L0:and

L1:(3) The firm employs United States citizens in key management positions.

L1:(b) Restriction. Military construction appropriations acts restrict award of a

L0:contract, resulting from this solicitation, to a United States firm or a joint venture of

L0:United States and host nation firms.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

L1:(c) Status. The offeror confirms, by submission of its offer, that it is a United States

L0:firm or a joint venture of United States and host nation firms.

L0:(End of provision)

252.236-7012 Military Construction on Kwajalein Atoll--Evaluation

Status: active

L0:252.236-7012 Military Construction on Kwajalein Atoll--Evaluation

L0:Preference.

L0:As prescribed in 236.101-71(c)(2), use the following provision:

L0:MILITARY CONSTRUCTION ON KWAJALEIN ATOLL--EVALUATION

L0:PREFERENCE (MAR 1998)

L1:(a) Definitions. As used in this provision?

L1:(1) ?Marshallse firm? means a local firm incorporated in the Marshall Islands,

L0:or otherwise legally organized under the laws of the Marshall Islands, that?

L1:(i) Is more than 50 percent owned by citizens of the Marshall Islands; or

L1:(ii) Complies with the following:

L0:basis for not less than 3 years prior to the date of issuance of this solicitation;

L1:(A) The firm has done business in the Marshall Islands on a continuing

L1:(B) Substantially all of the firm?s directors of local operations, senior

L0:staff, and operating personnel are resident in the Marshall Islands or are U.S. citizens;

L0:and

L0:Marshall Islands.

L1:(C) Most of the operating equipment and physical plant are in the

L1:(2) ?United States firm? means a firm incorporated in the United States that

L0:complies with the following:

L1:(i) The corporate headquarters are in the United States;

L1:(ii) The firm has filed corporate and employment tax returns in the United

L0:States for a minimum of 2 years (if required), has filed State and Federal income tax
L0:returns (if required) for 2 years, and has paid any taxes due as a result of these filings;
L0:and
L1:(iii) The firm employs United States citizens in key management positions.
L1:(b) Evaluation. Offers from firms that do not qualify as United States firms or
L0:Marshallese firms will be evaluated by adding 20 percent to the offer, unless application
L0:of the factor would not result in award to a United States firm.
L1:(c) Status. The offeror is _____ a United States firm; _____ a Marshallese firm;
L0:_____ Other.
L0:(End of provision)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36
L0:Defense FAR Supplement (DFARS) Part 236

252.236-7013 Requirement for Competition Opportunity for American Steel

Status: active

L0:252.236-7013 Requirement for Competition Opportunity for American Steel
L0:Producers, Fabricators, and Manufacturers.
L0:As prescribed in 236.101-71(d), use the following clause:
L0:REQUIREMENT FOR COMPETITION OPPORTUNITY FOR AMERICAN STEEL
L0:PRODUCERS, FABRICATORS, AND MANUFACTURERS (JAN 2023)
L1:(a) Definition. ?Construction material,? as used in this clause, means an article,
L0:material, or supply brought to the construction site by the Contractor or a subcontractor
L0:for incorporation into the building or work.
L1:(b) The Contractor shall provide American steel producers, fabricators, and
L0:manufacturers the opportunity to compete when acquiring steel as a construction
L0:material (e.g., steel beams, rods, cables, plates).
L1:(c) The Contractor shall insert the substance of this clause, including this
L0:paragraph (c), in any subcontract that involves the acquisition of steel as a construction
L0:material, including subcontracts for the acquisition of commercial products.
L0:(End of clause)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36
L0:Defense FAR Supplement (DFARS) Part 236
L0:PGI 236?CONSTRUCTION AND ARCHITECT-ENGINEER CONTRACTS
L0:PGI 236.1?PRE-SOLICITATION
L0:PGI 236.101 Construction.
L0:PGI 236.101-1 Acquisition Strategy.
L3:(b)(1)(70) Definition: ?lump sum? means a single payment of money, as opposed to a
L0:series of payments made over time.
L1:(i) An example of a line item with lump sum pricing in accordance with DFARS part
L0:204 is as follows:
L0:ITEM
L0:NO.

L0:0001

L0:SUPPLIES/SERVICE

L0:QUANTITY UNIT UNIT PRICE

L0:AMOUNT

L0:1

L0:Job

L0:\$1,501,866.08 \$1,501,866.08

L0:Repave runway 4 at Joint

L0:Base Andrews

L0:Firm Fixed Price

L0:PSC: Z1BD

L0:ACRN: AA

L0>Note that payment would occur upon completion and acceptance of the entire effort.

L0:Progress payments based on estimates of the percentage of completion (see FAR 52.232-

L0:5?Payments Under Fixed-Price Construction Contracts) could occur prior to that point.

L1:(ii) An example of a line item with unit pricing in accordance with DFARS part 204 is

L0:as follows:

L0:ITEM NO. SUPPLIES/SERVICE

L0:QUANTITY

L0:UNIT UNIT

L0:AMOUNT

L0:0001

L0:Repave runway 4 at Joint

L0:Base Andrews

L0:Firm Fixed Price

L0:PSC: Z1BD

L0:ACRN: AA

L0:525,128

L0:PRICE

L0:\$2.86

L0:Square

L0:Foot

L0:\$1,501,866.08

L0>Note that this allows the contractor to invoice for completed quantities of work, in

L0:accordance with FAR 32.102 (d), as those are accepted. Progress payments based on

L0:estimates of the percentage of completion (see FAR 52.232-5?Payments Under Fixed-

L0:Price Construction Contracts) could also occur prior to that point.

L1:(2) For additive or deductive items?

L1:(A) Use a bid schedule with?

L1:(1) A first or base bid item covering the work generally as specified; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

L1:(2) A list of priorities that contains one or more additive or deductive bid items that

L0:progressively add or omit specified features of the work in a stated order of priority.
L0:(Normally, do not mix additive and deductive bid items in the same solicitation.)
L1:(B) Before opening the bids, record in the contract file the amount of funds available for
L0:the project.
L1:(C) Determine the low bidder and the items to be awarded in accordance with the
L0:procedures in the clause at 252.236-7007, Additive or Deductive Items.
L0:PGI 236.101-4?Advance notices and solicitations.
L2:(b)(1) The contracting officer shall report data on the timelines for definitization of all
L0:requests for equitable adjustment (REAs) for change orders received from contractors
L0:under construction contracts. The contracting officer shall report this data using the
L0:PALT/Protest/REA Tracker module in the Procurement Integrated Enterprise
L0:Environment at <https://piee.eb.mil> within 10 business days of definitization. Data to be
L0:reported includes?
L1:(A) The contract number against which the REA was submitted;
L1:(B) The contractor that submitted the REA;
L1:(C) Date of receipt of the REA; and
L1:(D) Date of definitization of the REA and contract modification number.
L1:(2) Individually reported records will be aggregated by the PALT/Protest/REA
L0:Tracker module. The PALT/Protest/REA Tracker module will aggregate the timelines for the
L0:definitization of REAs for change orders under construction contracts. Contracting officers
L0:shall attach the aggregate results for the military department or defense agency to
L0:solicitations in accordance with FAR 36.101-4. See PGI 205.103-70) for further instructions
L0:regarding the solicitation notice.
L0:PGI 236.101-6 Government cost estimate.
L1:(1) Designate the Government estimate as ?CUI? (see <https://www.dodcui.mil/>) unless
L0:the information is classified. If it is, handle the estimate in accordance with security
L0:regulations.
L1:(2) For sealed bid acquisitions?
L1:(i) File a sealed copy of the Government estimate with the bids. (In the case of two-
L0:step acquisitions, this is done in the second step.)
L1:(ii) After the bids are read and recorded, remove the ?CUI? marking (see
L0:<https://www.dodcui.mil/>) and read and record the estimate as if it were a bid, in the same
L0:detail as the bids.
L0:PGI 236.102-70 Notice.
L0:During the applicable notice periods, synopsis of the proposed contract action and
L0:administrative actions leading to the award may be started.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36
L0:Defense FAR Supplement (DFARS) Part 236
L0:PGI 236.2?EVALUATION AND AWARD
L0:PGI 236.201 Construction.
L0:PGI 236.201-170 Construction in foreign countries.
L1:(b) When a technical working agreement with a foreign government is required for a
L0:construction contract?
L1:(i) Consider inviting the Army Office of the Chief of Engineers, or the Naval Facilities
L0:Engineering Command, to participate in the negotiations.

L1:(ii) The agreement should, as feasible and where not otherwise provided for in other L0:agreements, cover all elements necessary for the construction that are required by laws, L0:regulations, and customs of the United States and the foreign government, including?

L1:(A) Acquisition of all necessary rights;

L1:(B) Expeditious, duty-free importation of labor, material, and equipment;

L1:(C) Payment of taxes applicable to contractors, personnel, materials, and L0:equipment;

L1:(D) Applicability of workers' compensation and other labor laws to citizens of the L0:United States, the host country, and other countries;

L1:(E) Provision of utility services;

L1:(F) Disposition of surplus materials and equipment;

L1:(G) Handling of claims and litigation; and

L1:(H) Resolution of any other foreseeable problems that can be appropriately L0:included in the agreement.

L0:PGI 236.202 Architect and engineering services.

L0:PGI 236.202-1 Evaluation.

L0:The evaluation criteria should be project specific. Use the information in the DD Form 1391, L0:FY__ Military Construction Project Data, when available, and other pertinent project data in L0:preparing the evaluation criteria.

L1:(a) Use performance evaluation data from the Contractor Performance Assessment L0:Report System (CPARS).

L1:(b) The primary factor in architect-engineer contractor selection is the determination of L0:the most highly qualified firm. Also consider secondary factors such as geographic proximity L0:and equitable distribution of work, but do not attribute greater significance to the secondary L0:factors than to qualifications and past performance. Do not reject the overall most highly L0:qualified firm solely in the interest of equitable distribution of contracts.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 36

L0:Defense FAR Supplement (DFARS) Part 236

L1:(1) Consider the volume of work awarded by DoD during the previous 12 months.

L0:In considering equitable distribution of work among architect-engineer firms, include small L0:business concerns; historically black colleges and universities and minority institutions; firms L0:that have not had prior DoD contracts; and small disadvantaged business concerns and joint L0:ventures with small disadvantaged business participants if the North American Industry L0:Classification System (NAICS) Industry Subsector of the acquisition is one in which use of a L0:price evaluation adjustment is currently authorized (see FAR 19.201(b)).

L1:(i) Use data extracted from the Federal Procurement Data System (FPDS).

L1:(ii) Do not consider awards to overseas offices for projects outside the United L0:States, its territories and possessions. Do not consider awards to a subsidiary if the L0:subsidiary is not normally subject to management decisions, bookkeeping, and policies of a L0:holding or parent company or an incorporated subsidiary that operates under a firm name L0:different from the parent company. This allows greater competition.

L1:(2) Consider as appropriate superior performance evaluations on recently L0:completed DoD contracts.

L1:(3) Consider the extent to which potential contractors identify and commit to small L0:business, to small disadvantaged business (SDB) if the NAICS Industry Subsector of the

L0:subcontracted effort is one in which use of an evaluation factor or subfactor for participation

L0:of SDB concerns is currently authorized (see FAR 19.201(b)), and to historically black

L0:college or university and minority institution performance as subcontractors.

L0:PGI 236.202-371 Statutory Fee Limitation.

L0:This fee limitation applies only to Departments of the Army, Navy, and Air Force

L0:requirements (e.g., if the Department of the Army awards a contract for the Defense

L0:Logistics Agency or the Department of the Interior, this fee limitation does not apply). See

L0:FAR 15.404-9(c)(4)(ii) for the fee limitation that applies to other DoD components and civilian

L0:agencies.

L0:PGI 236.3 POSTAWARD

L0:PGI 236.371 Architect-Engineer post construction evaluation.

L0:In addition to the requirements at FAR 42.1102(f), prepare a separate performance

L0:evaluation after actual construction of the project. The evaluating official should be the

L0:person most familiar with the architect-engineer contractor's performance.

PART 37

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

237.201 Presolicitation

Status: active

L0:237.201 Presolicitation.

237.201-170 Policy

Status: active

L0:237.201-170 Policy.

L1:(a) Personal services contracts for expert and consultant services are authorized by L0:10 U.S.C. 129b and must also be authorized by a determination and findings (D&F) in L0:accordance with department and agency regulations. See PGI 237.201-170(a) for L0:further D&F guidance.

L1:(b) Personal services contracts for health care are authorized by 10 U.S.C. 1091.

L1:(1) This authority may be used to acquire?

L1:(i) Direct health care services provided in medical treatment facilities;

L1:(ii) Health care services at locations outside of medical treatment facilities

L0:(such as the provision of medical screening examinations at military entrance

L0:processing stations); and

L1:(iii) Services of clinical counselors, family advocacy program staff, and

L0:victim?s services representatives to members of the Armed Forces and covered

L0:beneficiaries who require such services, provided in medical treatment facilities or

L0:elsewhere. Persons with whom a personal services contract may be entered into under

L0:this authority include clinical social workers, psychologists, psychiatrists, and other

L0:comparable professionals who have advanced degrees in counseling or related academic

L0:disciplines and who meet all requirements for State licensure and board certification

L0:requirements, if any, within their fields of specialization.

L1:(2) Select sources for personal services contracts with individuals under the

L0:authority of 10 U.S.C. 1091 using the procedures in this section. These procedures do

L0:not apply to contracts awarded to business entities other than individuals. Selections

L0:made using the procedures in this section are exempt by statute from FAR Part 6

L0:competition requirements.

L1:(3) Approval requirements for?

L1:(i) Direct health care personal services contracts (see paragraphs (b)(1)(i)

L0:and (ii) of this section) and a pay cap are in DoDI 6025.5, Personal Services Contracts

L0:for Health Care Providers.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L1:(A) A request for a personal services contract for direct health care

L0:services must be approved by the commander of the medical/dental treatment facility

L0:where the services will be performed.

L1:(B) A request for a personal services contract for a location outside of a

L0:medical treatment facility must be approved by the chief of the medical facility who is

L0:responsible for the area in which the services will be performed.

L1:(ii) Services of clinical counselors, family advocacy program staff, and

L0:victim's services representatives (see paragraph (b)(1)(iii) of this section), shall be in

L0:accordance with agency procedures.

L1:(4) The contracting officer must ensure that the requiring activity provides a

L0:copy of the approval with the purchase request.

L1:(5) The contracting officer must provide adequate advance notice of contracting

L0:opportunities to individuals residing in the area of the facility. The notice will include

L0:the qualification criteria against which individuals responding will be evaluated. The

L0:contracting officer will solicit applicants through at least one local publication which

L0:serves the area of the facility. Acquisitions under this section for personal service

L0:contracts are exempt from the posting and synopsis requirements of FAR Part 5.

L1:(6) The contracting officer shall provide the qualifications of individuals

L0:responding to the notice to the commander of the facility for evaluation and ranking in

L0:accordance with agency procedures. Individuals must be considered solely based on the

L0:professional qualifications established for the particular personal services being

L0:acquired and the Government's estimate of reasonable rates, fees, or other costs. The

L0:commander of the facility shall provide the contracting officer with rationale for the

L0:ranking of individuals, consistent with the required qualifications.

L1:(7) Upon receipt from the facility of the ranked listing of applicants, the

L0:contracting officer will either?

L1:(i) Enter into negotiations with the highest ranked applicant. If a mutually

L0:satisfactory contract cannot be negotiated, the contracting officer will terminate

L0:negotiations with the highest ranked applicant and enter into negotiations with the

L0:next highest.

L1:(ii) Enter into negotiations with all qualified applicants and select based on

L0:qualifications and rates, fees, or other costs.

L1:(8) In the event only one individual responds to an advertised requirement, the

L0:contracting officer is authorized to negotiate the contract award. In this case, the

L0:individual must still meet the minimum qualifications of the requirement, and the

L0:contracting officer must be able to make a determination that the price is fair and

L0:reasonable.

L1:(9) If a fair and reasonable price cannot be obtained from a qualified individual,

L0:the requirement should be canceled and acquired using procedures other than those set

L0:forth in this section.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L2:(c)(1) In accordance with 10 U.S.C. 129b(d), an agency may enter into a personal

L0:services contract if?

L1:(i) The personal services?

L0:regardless of their nationality;

L1:(A) Are to be provided by individuals outside the United States,

L0:counter-intelligence organization of DoD; or

L1:(B) Directly support the mission of a defense intelligence component or

L0:DoD; and

L1:(C) Directly support the mission of the special operations command of

L1:(ii) The head of the contracting activity provides written approval for the

L0:proposed contract. The approval must include a determination that addresses the

L0:following:

L1:(A) The services to be procured are urgent or unique;

L1:(B) It would not be practical to obtain such services by other means; and

L1:(C) For acquisition of services in accordance with paragraph (c)(1)(A) of

L0:this section, the services to be acquired are necessary and appropriate for supporting

L0:DoD activities and programs outside the United States.

L1:(2) The contracting officer will ensure that the applicable requirements of

L0:paragraph (c)(2) of this section have been satisfied and will include the approval

L0:documentation in the contract file.

L1:(d) The requirements of 5 U.S.C. 3109, Employment of Experts and Consultants;

L0:Temporary or Intermittent, do not apply to contracts entered into in accordance with

L0:paragraph (c)(1) of this section.

L1:(e) See PGI 237.876 for requirements for certification and approval of requirements

L0:for services to prevent contracts from being awarded or administered in a manner that

L0:constitutes an unauthorized personal services contract.

L2:(f)(1) Payment to each expert or consultant for personal services under 5 U.S.C.

L0:3109 shall not exceed the highest rate fixed by the Classification Act Schedules for

L0:grade GS-15 (see 5 CFR 304.105(a)).

L1:(2) The contract may provide for the same per diem and travel expenses

L0:authorized for a Government employee, including actual transportation and per diem in

L0:lieu of subsistence for travel between home or place of business and official duty station.

L1:(3) Coordinate with the civilian personnel office on benefits, taxes, personnel

L0:ceilings, and maintenance of records.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

237.301 Presolicitation

Status: active

L0:237.301 Presolicitation.

237.301-1 Policy

Status: active

L0:237.301-1 Policy.

L2:(a)(i) In addition to the prohibition on award of contracts for the performance of

L0:inherently governmental functions, contracting officers must not award contracts for

L0:functions that are exempt from private sector performance (see 207.503-70(a)(2)). See

L0:part 207 for the associated documentation requirement.

237.470 Acquisition of audit services

Status: active

L0:237.470 Acquisition of audit services.

L1:(a) General policy.

L1:(1) Do not contract for audit services unless?

L1:(i) The cognizant DoD audit organization determines that expertise

L0:required to perform the audit is not available within the DoD audit organization; or

L1:(ii) Temporary audit assistance is required to meet audit reporting

L0:requirements mandated by law or DoD regulation.

L1:(2) See PGI 237.470 for a list of DoD publications that govern the conduct of

L0:audits.

L1:(b) Contract period. Except in unusual circumstances, award contracts for recurring

L0:audit services for a 1-year period with at least 2 option years.

L1:(c) Approvals. Do not issue a solicitation for audit services unless the requiring

L0:activity provides evidence that the cognizant DoD audit organization has approved the

L0:statement of work. The requiring agency must obtain the same evidence of approval for

L0:subsequent material changes to the statement of work.

L1:(d) Transparency requirement for firms used to support DoD audits.

L1:(1) This paragraph (d) implements the requirements of Section 1006 of Pub. L.

L0:115-232 and Section 1011 of Pub. L. 116-92 for transparency of accounting firms used to

L0:support DoD audits; and extends the statutory requirement, as a matter of DoD policy,

L0:to firms other than accounting firms in order to ensure consistent availability of data for

L0:contracting officer evaluation and appropriate use.

L1:(2) This requirement applies to solicitations and contracts for?

L1:(i) Financial statement auditing required under 31 U.S.C. 3521(e); or

L1:(ii) Audit remediation services in support of the Financial Improvement and

L0:Audit Remediation Plan described in 10 U.S.C. 240b.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L1:(3) Any firm responding to a solicitation or awarded a contract for the

L0:acquisition of the services described in paragraph (d)(2) of this section is required to

L0:represent with regard to whether it has been subject to disciplinary proceedings within

L0:the last 3 years and, if the offeror represents that it has, to disclose to DoD before any

L0:contract action (including award, renewals, and modifications)?

L1:(i) The details of any disciplinary proceedings, with respect to the firm or its

L0:associated persons (including principals and employees), before an entity with the

L0:authority to enforce compliance with rules or laws applying to audit services or audit

L0:remediation services offered by accounting firms or firms other than accounting firms;

L0:and

L1:(ii) For subsequent contract actions after contract award, whether there has

L0:been any change regarding previously reported disciplinary proceedings since the last

L0:contract action.

L1:(e) Solicitation provisions and contract clauses.

L1:(1) Insert the provision at 252.237-7997, Notice of Special Standards of

L0:Responsibility, in solicitations for audit services.

L1:(2) Insert the clause at 252.237-7001, Compliance with Audit Standards, in

L0:solicitations and contracts for audit services.

L1:(3) Insert the provision at 252.237-7025, Preaward Transparency Requirements

L0:for Firms Offering to Support Department of Defense Audits?Representation and

L0:Disclosure, in solicitations, including solicitations using FAR part 12 procedures for the

L0:acquisition of commercial products and commercial services, that include the clause at

L0:252.237-7026, Postaward Transparency Requirements for Firms that Support

L0:Department of Defense Audits.

L1:(4) Insert the clause at 252.237-7026, Postaward Transparency Requirements

L0:for Firms that Support Department of Defense Audits, in solicitations and contracts,

L0:including solicitations and contracts using FAR part 12 procedures for the acquisition of

L0:commercial products and commercial services, that?

L1:(i) Exceed the simplified acquisition threshold; and

L1:(ii) Are for the acquisition of financial statement auditing or audit

L0:remediation services as described in paragraph (d)(2) of this section.

237.471 Consulting services

Status: active

L0:237.471 Consulting services.

L0:See 209.572 for requirements related to conflicts of interest in consulting services

237.802 Presolicitation

Status: active

L0:237.802 Presolicitation.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

237.802-70 Prohibition on contracting for firefighting or security-guard

Status: active

L0:237.802-70 Prohibition on contracting for firefighting or security-guard

L0:functions.

L1:(a) The DoD is prohibited from contracting for the performance of firefighting or

L0:security-guard functions at any military installation or facility (10 U.S.C. 2465),
L0:unless?
L1:(1) The contract will be performed outside the U.S. and its outlying areas to
L0:avoid using members of the armed forces for firefighting or security-guard functions at
L0:the expense of unit readiness;
L1:(2) The contract will be performed on a Government-owned but privately
L0:operated installation;
L1:(3) The contract (or renewal of a contract) is for the performance of a function
L0:under contract on September 24, 1983; or
L1:(4) The contract?
L1:(i) Is for the performance of firefighting functions;
L1:(ii) Is for a period of 1 year or less; and
L1:(iii) Covers only the performance of firefighting functions normally
L0:performed by members of the armed forces who are or will be deployed and unavailable.
L1:(b) This prohibition does not apply to services at installations being closed (Section
L0:2907 of Pub. L. 103-160) (see Subpart 237.74).

237.802-71 Limitation on service contracts for military flight simulators

Status: active

L0:237.802-71 Limitation on service contracts for military flight simulators.
L1:(a) As used in this section?
L1:(1) ?Military flight simulator? means any system to simulate the form, fit, and
L0:function of a military aircraft that has no commonly available commercial variant.
L1:(2) ?Service contract? means any contract entered into by DoD, the principal
L0:purpose of which is to furnish services in the United States through the use of service
L0:employees as defined in 41 U.S.C. 6701.
L1:(b) The DoD is prohibited from using a service contract to acquire a military flight
L0:simulator (Section 832 of Pub. L. 109-364, and section 883(b) of Pub. L. 110-181).
L0:However, the Secretary of Defense may waive this prohibition if?
L1:(1) A waiver is in the national interest; and
L1:(2) An economic analysis is provided to the congressional defense committees at
L0:least 30 days before the waiver takes effect. This economic analysis must include, at a
L0:minimum?
L1:(i) A clear explanation of the need for the contract; and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37
L0:Defense FAR Supplement (DFARS) Part 237
L1:(ii) At least two alternatives for fulfilling the requirements that the contract
L0:is meant to fulfill, including the following for each alternative:
L1:(A) A rationale for including the alternative.
L0:each cost estimate.
L1:(B) A cost estimate of the alternative and an analysis of the quality of
L1:(C) A discussion of the benefits to be realized from the alternative.
L0:explanation of the life-cycle cost calculations used in the determination.

L1:(D) A best value determination of each alternative and a detailed
L1:(c) Follow the procedures at PGI 237.802-71 when submitting a waiver request.

237.802-72 Contracts for management services

Status: active

L0:237.802-72 Contracts for management services.
L0:DoD may award a services contract for acquisition support functions that support the
L0:development or production of a major system (Section 802 of Pub. L. 110-181), only if?
L1:(a) The contract prohibits the contractor from performing inherently governmental
L0:functions;
L1:(b) The DoD organization responsible for the development or production of the
L0:major system ensures that Federal employees are responsible for determining?
L1:(1) Courses of action to be taken in the best interest of the Government; and
L1:(2) Best technical performance for the warfighter; and
L1:(c) The contract prohibits the prime contractor from advising or recommending the
L0:award of a contract or subcontract for the development or production of the major
L0:system to an entity it owns in whole or in part.

237.802-73 for references to DoD policy and implementation guidance

Status: active

L0:237.802-73 for references to DoD policy and implementation guidance.

237.802-74 Taxonomy for the acquisition of services, and supplies and

Status: active

L0:237.802-74 Taxonomy for the acquisition of services, and supplies and
L0:equipment.
L0:See PGI 237.802-74 for guidance on the taxonomy for the acquisition of services and the
L0:acquisition of supplies and equipment.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37
L0:Defense FAR Supplement (DFARS) Part 237

237.802-75 Acquisition of Services pathway

Status: active

L0:237.802-75 Acquisition of Services pathway.
L0:See PGI 237.802-75 for information on the Adaptive Acquisition Framework,
L0:Acquisition of Services pathway.

237.802-76 Acquisition of computer software and computer software

Status: active

L0:237.802-76 Acquisition of computer software and computer software

L0:documentation under services contracts.

L1:(a) See 227.7202 for policy on the acquisition of commercial computer software and

L0:commercial computer software documentation for services contracts that require the

L0:development or modification of commercial computer software.

L1:(b) See 227.7103 for policy on the acquisition of other than commercial computer

L0:software and other than commercial computer software documentation for services

L0:contracts that require the development or modification of other than commercial

L0:computer software.

237.802-77 Preference for certain commercial services

Status: active

L0:237.802-77 Preference for certain commercial services.

L0:See part 212 for procedures for implementation of the preference for commercial

L0:facilities-related services, knowledge-based services (except engineering services),

L0:medical services, or transportation services, as required by Section 876 of Pub. L. 114-

L0:328.

237.802-78 Public-private competition

Status: active

L0:237.802-78 Public-private competition.

L0:See PGI 207.170 for information on the Governmentwide moratorium and restrictions

L0:on public-private competitions conducted pursuant to Office of Management and Budget

L1:(OMB) Circular A-76.

237.802-79 Private sector notification requirements in support of in-sourcing

Status: active

L0:237.802-79 Private sector notification requirements in support of in-sourcing

L0:actions.

L1:(a) Contracting officers will provide written notification to affected incumbent

L0:contractors of Government in-sourcing determinations (10 U.S.C. 2463).

L1:(b) See PGI 237.802-79 for notification procedures and for further information in

L0:memorandum, ?Private Sector Notification Requirements in Support of In-sourcing

L0:Actions,? dated January 29, 2013.

237.803 Evaluation and award

Status: active

L0:237.803 Evaluation and award.

237.803-2 Funding and term of service contracts

Status: active

L0:237.803-2 Funding and term of service contracts.

L2:(a)(i) Personal service contracts for expert or consultant services shall not exceed 1

L0:year. The nature of the duties must be?

L1:(A) Temporary (not more than 1 year); or

L1:(B) Intermittent (not cumulatively more than 130 days in 1 year).

L1:(ii) The contracting officer may enter into a contract, exercise an option, or

L0:place an order under a contract for severable services for a period that begins in one

L0:fiscal year and ends in the next fiscal year if the period of the contract awarded, option

L0:exercised, or order placed does not exceed 1 year (10 U.S.C. 3133).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

237.870 Approval of contracts and task orders for services

Status: active

L0:237.870 Approval of contracts and task orders for services.

237.870-1 Scope

Status: active

L0:237.870-1 Scope.

L0:This section?

L1:(a) Implements 10 U.S.C. 4501; and

L1:(b) Applies to services acquired for DoD, regardless of whether the services are

L0:acquired through?

L1:(1) A DoD contract or task order; or

L1:(2) A contract or task order awarded by an agency other than DoD.

237.870-2 Approval requirements

Status: active

L0:237.870-2 Approval requirements.

L1:(a) Acquisition of services through a contract or task order that is not performance

L0:based.

L1:(1) For acquisitions at or below \$100 million, obtain the approval of the official

L0:designated by the department or agency.

L1:(2) For acquisitions exceeding \$100 million, obtain the approval of the senior
L0:procurement executive.

L1:(b) Acquisition of services through use of a contract or task order issued by a non-

L0:DoD agency. Comply with the review, approval, and reporting requirements

L0:established in accordance with part 217 when acquiring services through use of a

L0:contract or task order issued by a non-DoD agency.

237.871 Training for contractor personnel interacting with detainees

Status: active

L0:237.871 Training for contractor personnel interacting with detainees.

237.871-1 Scope

Status: active

L0:237.871-1 Scope.

L0:This section implements policies to prevent the abuse of detainees, as required by

L0:Section 1092 of Pub. L. 108-375.

237.871-2 Definition

Status: active

L0:237.871-2 Definition.

L0:As used in this section?

L0:?"Combatant commander," ?detainee," and ?personnel interacting with detainees," as

L0:used in this section, are defined in the clause at 252.237-7998, Training for Contractor

L0:Personnel Interacting with Detainees.

237.871-3 Policy

Status: active

L0:237.871-3 Policy.

L1:(a) DoD contracts involving contractor personnel who interact with detainees will

L0:include a requirement that such contractor personnel?

L1:(1) Receive Government-provided training regarding the international

L0:obligations and laws of the United States applicable to the detention of personnel,

L0:including the Geneva Conventions; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L1:(2) Provide a copy of the training receipt document to the contractor.

L1:(b) The combatant commander responsible for the area where the detention or

L0:interrogation facility is located will arrange for the training and a training receipt

L0:document to be provided to contractor personnel. For combatant commander
L0:geographic areas of responsibility and contact information, see PGI 237.871-3(b).

237.871-4 Contract clause

Status: active

L0:237.871-4 Contract clause.
L0:Insert the clause at 252.237-7998, Training for Contractor Personnel Interacting with
L0:Detainees, in solicitations and contracts, including solicitations and contracts using
L0:FAR part 12 procedures for the acquisition of commercial products and commercial
L0:services, that are for the acquisition of services if?
L1:(a) The clause at 252.225-7040, Contractor Personnel Supporting U.S. Armed
L0:Force(s) Deployed Outside the United States, is included in the solicitation or contract;
L0:or
L1:(b) The services will be performed at a facility holding detainees, and contractor
L0:personnel in the course of their duties may be expected to interact with the detainees.

237.872 Service contracts surveillance

Status: active

L0:237.872 Service contracts surveillance.
L1:(a) See PGI 237.872 for guidance concerning quality assurance surveillance plans.
L1:(b) See PGI 216.505-70 for guidance regarding minimum labor category
L0:qualifications for orders issued under multiple award services contracts.

237.873 Prohibition on interrogation of detainees by contractor personnel

Status: active

L0:237.873 Prohibition on interrogation of detainees by contractor personnel.

237.873-1 Scope

Status: active

L0:237.873-1 Scope.
L0:This section implements policies prohibiting interrogation of detainees by contractor
L0:personnel, as required by Section 1038 of Pub. L. 111-84.

237.873-2 Definitions

Status: active

L0:237.873-2 Definitions.
L0:As used in this section-

L0:Detainee? means any person captured, detained, held, or otherwise under the L0:hostilities. This includes, but is not limited to, enemy prisoners of war, civilian L0:internees, and retained personnel. This does not include DoD personnel or DoD L0:contractor personnel being held for law enforcement purposes.

L0:Interrogation of detainees? means a systematic process of formally and officially L0:questioning a detainee for the purpose of obtaining reliable information to satisfy L0:foreign intelligence collection requirements.

237.873-3 Policy

Status: active

L0:237.873-3 Policy.

L1:(a) No detainee may be interrogated by contractor personnel.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L1:(b) Contractor personnel with proper training and security clearances may be

L0:used as linguists, interpreters, report writers, information technology technicians,

L0:and other employees filling ancillary positions, including as trainers of and advisors

L0:to interrogators, in interrogations of detainees if?

L1:(1) Such personnel are subject to the same laws, rules, procedures, and

L0:policies pertaining to detainee operations and interrogations as those that apply to

L0:Government personnel in such positions in such interrogations; and

L1:(2) Appropriately qualified and trained DoD personnel (military or civilian)

L0:are available to oversee the contractor?s performance and to ensure that contractor

L0:personnel do not perform activities that are prohibited under this section.

L1:(3) See PGI 237.873-3 for a listing of applicable DoD policies pertaining to

L0:detainee operations and interrogations.

237.873-4 Waiver

Status: active

L0:237.873-4 Waiver.

L0:The Secretary of Defense may waive the prohibition in 237.873-3(a) for a period of

L0:60 days, if the Secretary determines such a waiver is vital to the national security

L0:interests of the United States. The Secretary may renew a waiver issued pursuant

L0:to this paragraph for an additional 30-day period, if the Secretary determines that

L0:such a renewal is vital to the national security interests of the United States. Not

L0:later than five days after issuance of the waiver, the Secretary shall submit written

L0:notification to Congress. See specific waiver procedures at DoDI 1100.22.

237.873-5 Contract clause

Status: active

L0:237.873-5 Contract clause.

L0:Insert the clause at 252.237-7010, Prohibition on Interrogation of Detainees by

L0:Contractor Personnel, in solicitations and contracts, including solicitations and

L0:contracts using FAR part 12 procedures for the acquisition of commercial products

L0:and commercial services, that are for the provision of services.

237.874 Disclosure of information to litigation support contractors

Status: active

L0:237.874 Disclosure of information to litigation support contractors.

L0:See part 204 for disclosure of information to litigation support contractors.

237.875 Training that uses live vertebrate animals

Status: active

L0:237.875 Training that uses live vertebrate animals.

L0:Insert the clause at 252.235-7002, Animal Welfare, as prescribed in 235.072(a), when

L0:contracting for training that will use live vertebrate animals.

237.876 Certification of nonpersonal services

Status: active

L0:237.876 Certification of nonpersonal services.

L1:(a) The agency head must employ procedures to ensure that requirements for

L0:service contracts are vetted and approved as a safeguard to prevent contracts from

L0:being awarded or administered in a manner that constitutes an unauthorized personal

L0:services contract.

L1:(b) Follow the procedures at PGI 237.876, to include substantially similar

L0:certifications in conjunction with service contract requirements and place the

L0:certification in the contract file. The program manager or other official responsible for

L0:the requirement, at a level specified by the agency, should execute the certification.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L1:(c) Contracting officers and program managers should remain aware of the

L0:descriptive elements at FAR 37.201-2 to ensure that a service contract does not

L0:inadvertently become administered as a personal-services contract.

237.7000 Scope

Status: active

L0:237.7000 Scope.

L0:This subpart?

L1:(a) Applies to contracts for mortuary services (the care of remains) for military
L0:personnel within the United States; and
L1:(b) May be used as guidance in areas outside the United States for mortuary
L0:services for deceased military and civilian personnel.

237.7001 Method of acquisition

Status: active

L0:237.7001 Method of acquisition.
L1:(a) Requirements type contract. By agreement among the military activities, one
L0:activity in each geographical area will contract for the estimated requirements for the
L0:care of remains for all military activities in the area. Use a requirements type contract
L0:(see FAR 16.503) when the estimated annual requirements for the activities in the area
L0:are ten or more.
L1:(b) Purchase order. Where no contract exists, use DD Form 1155, Order for
L0:Supplies or Services, to obtain mortuary services.

237.7002 Area of performance and distribution of contracts

Status: active

L0:237.7002 Area of performance and distribution of contracts.
L0:Follow the procedures at PGI 237.7002 for?
L1:(a) Defining the geographical area to be covered by the contract; and
L1:(b) Distributing copies of the contract.

237.7003 Solicitation provisions and contract clauses

Status: active

L0:237.7003 Solicitation provisions and contract clauses.
L1:(a) Insert the following clauses in all mortuary service solicitations and contracts,
L0:except do not use the clauses at 252.237-7004, Area of Performance, in solicitations or
L0:contracts that include port of entry requirements:
L1:(1) 252.237-7003, Requirements, (insert activities authorized to place orders in
L0:paragraph (e) of the clause).
L1:(2) 252.237-7004, Area of Performance.
L1:(3) 252.237-7005, Performance and Delivery.
L1:(4) 252.237-7006, Subcontracting.
L1:(5) 252.237-7007, Termination for Default.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37
L0:Defense FAR Supplement (DFARS) Part 237
L1:(6) 252.237-7008, Group Interment.
L1:(7) 252.237-7009, Permits.
L1:(8) 252.237-7011, Preparation History.

L1:(b) Insert the clause at FAR 52.245-1, Government Property, with its Alternate I, in
L0:solicitations and contracts that include port of entry requirements.

237.7100 Scope

Status: active

L0:237.7100 Scope.

L0:This subpart?

L1:(a) Applies to contracts for laundry and dry cleaning services within the United
L0:States; and

L1:(b) May be used as guidance in areas outside the United States.

237.7101 Solicitation provisions and contract clauses

Status: active

L0:237.7101 Solicitation provisions and contract clauses.

L1:(a) Insert the provision at 252.237-7012, Instruction to Offerors (Count-of-Articles),
L0:in solicitations for laundry and dry cleaning services to be provided on a count-of-
L0:articles basis.

L1:(b) Insert the provision at 252.237-7013, Instruction to Offerors (Bulk Weight), in
L0:solicitations for laundry services to be provided on a bulk weight basis.

L1:(c) Insert the clause at 252.237-7014, Loss or Damage (Count-of-Articles), in
L0:solicitations and contracts for laundry and dry cleaning services to be provided on a
L0:count-of-articles basis.

L1:(d) Insert the clause at 252.237-7015, Loss or Damage (Weight of Articles), in
L0:solicitations and contracts for laundry and dry cleaning services to be provided on a
L0:bulk weight basis.

L1:(1) Insert a reasonable per pound price in paragraph (b) of the clause, based on
L0:the average per pound value. When the contract requires laundry services on a bag
L0:type basis, insert reasonable per pound prices by bag type.

L1:(2) Insert an appropriate percentage in paragraph (e) of the clause, not to
L0:exceed eight percent.

L1:(e) Insert the basic or an alternate of the clause at 252.237-7016, Delivery Tickets,
L0:in all solicitations and contracts for laundry and dry cleaning services.

L1:(1) Insert the basic clause when services are not to be provided on a bulk weight
L0:basis.

L1:(2) Insert the alternate I clause when services are for bag type laundry to be
L0:provided on a bulk weight basis.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37
L0:Defense FAR Supplement (DFARS) Part 237

L1:(3) Insert the alternate II clause when services are unsorted laundry to be
L0:provided on a bulk weight basis.

L1:(f) Insert the clause at 252.237-7017, Individual Laundry, in solicitations and
L0:contracts for laundry and dry cleaning services to be provided to individual personnel.

L1:(1) Insert the number of pieces of outer garments in paragraphs (d)(1) and (2) of L0:the clause.

L1:(2) The number of pieces and composition of a bundle in paragraphs (d)(1) and L1:(2) of the clause may be modified to meet local conditions.

L1:(g) Insert the clause at 252.237-7018, Special Definitions of Government Property, L0:in all solicitations and contracts for laundry and dry cleaning services.

237.7200 Scope

Status: active

L0:237.7200 Scope.

L1:(a) This subpart prescribes acquisition procedures for educational services from L0:schools, colleges, universities, or other educational institutions. This subpart does not L0:include tuition assistance agreements, i.e., payment by the Government of partial L0:tuition under the off-duty educational program.

L1:(b) As used in the subpart?

L1:(1) ?Facilities? does not include the institution's dining rooms or dormitories;

L0:and

L1:(2) ?Fees? does not include charges for meals or lodging.

237.7201 Educational service agreement

Status: active

L0:237.7201 Educational service agreement.

L1:(a) An educational service agreement is not a contract but is an ordering agreement L0:under which the Government may order educational services.

L1:(b) Educational service agreements provide for ordering educational services L0:when?

L1:(1) The Government pays normal tuition and fees for educational services L0:provided to a student by the institution under its normal schedule of tuition and fees L0:applicable to all students generally; and

L1:(2) Enrollment is at the institution under the institution's normal rules and in L0:courses and curricula which the institution offers to all students meeting admission L0:requirements.

237.7202 Limitations

Status: active

L0:237.7202 Limitations.

L0:Educational service agreements are not used to provide special courses or special fees L0:for Government students.

237.7203 Duration

Status: active

L0:237.7203 Duration.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L1:(a) Educational service agreements are for an indefinite duration and remain in

L0:effect until terminated.

L1:(b) The issuing activity must establish procedures to review each educational

L0:service agreement at least once each year. Review dates should consider the

L0:institution's academic calendar and occur at least 30 days before the beginning of a

L0:term. The purpose of the review is to incorporate changes to reflect requirements of any

L0:statute, Executive Order, FAR, or DFARS.

L1:(c) If the contracting officer and the institution do not agree on required changes,

L0:terminate the agreement.

237.7204 Format and clauses for educational service agreements

Status: active

L0:237.7204 Format and clauses for educational service agreements.

L0:See PGI 237.7204 for format and clauses for educational service agreements.

237.7300 Scope

Status: active

L0:237.7300 Scope.

L0:This subpart implements acquisition of temporary or intermittent services of students

L0:at institutions of higher learning to provide technical support at defense research and

L0:development laboratories (10 U.S.C. 4143).

237.7301 Definitions

Status: active

L0:237.7301 Definitions.

L0:As used in this subpart?

L1:(a) ?Institution of higher learning? means any public or private post-secondary

L0:school, junior college, college, university, or other degree granting educational

L0:institution that?

L1:(1) Is located in the United States or its outlying areas;

L1:(2) Has an accredited education program approved by an appropriate

L0:accrediting body; and

L1:(3) Offers a program of study at any level beyond high school.

L1:(b) ?Student? means an individual enrolled (or accepted for enrollment) at an

L0:institution of higher learning before the term of the student technical support contract.
L0:The individual must remain in good standing in a curriculum designed to lead to the
L0:granting of a recognized degree, during the term of the contract.
L1:(c) ?Technical support? means any scientific or engineering work in support of the
L0:mission of the DoD laboratory involved. It does not include administrative or clerical
L0:services.

237.7302 Policy

Status: active

L0:237.7302 Policy.
L0:Acquisition of services of students at institutions of higher learning is generally by
L0:contract between a nonprofit organization employing the student and the Government.
L0:When it is in the best interest of the Government, contracts may be made directly with
L0:students. These services are not subject to the requirements of FAR Part 19, FAR
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37
L0:Defense FAR Supplement (DFARS) Part 237
L0:13.102, or DFARS part 219. Award authority for these contracts is 10 U.S.C. 3204(a)
L0:and 10 U.S.C. 4143.

237.7303 Contract clauses

Status: active

L0:237.7303 Contract clauses.
L0:Contracts made directly with students are nonpersonal service contracts but must
L0:include the clauses at FAR 52.232-3, Payments Under Personal Services Contracts, and
L0:FAR 52.249-12, Termination (Personal Services).

237.7400 Scope

Status: active

L0:237.7400 Scope.
L0:This subpart implements procedures for contracting, through use of other than full and
L0:open competition, with local governments for police, fire protection, airfield operation, or
L0:other community services at military installations to be closed under the Defense
L0:Authorization Amendments and Base Closure and Realignment Act (Pub. L. 100-526),
L0:as amended, and the Defense Base Closure and Realignment Act of 1990 (Pub. L. 101-
L0:510), as amended.

237.7401 Policy

Status: active

L0:237.7401 Policy.

L0:The authority in 206.103-5(c)(ii) to contract with local governments?

L1:(a) May be exercised without regard to the provisions of 10 U.S.C. Chapter 146,

L0:Contracting for Performance of Civilian Commercial or Industrial Type Functions;

L1:(b) May not be exercised earlier than 180 days before the date the installation is

L0:scheduled to be closed;

L1:(c) Requires a determination by the head of the contracting activity that the services

L0:being acquired under contract with the local government are in the best interests of the

L0:DoD.

237.7402 Contract clause

Status: active

L0:237.7402 Contract clause.

L0:Insert the clause at 252.237-7022, Services at Installations Being Closed, in solicitations

L0:and contracts based upon the authority of this subpart.

237.7501 Definition

Status: active

L0:237.7501 Definition.

L0:As used in this subpart?

L0:Facilities project, means a Government project to provide, modernize, or replace real

L0:property for use by a contractor in performing a Government contract or subcontract.

237.7502 Policy

Status: active

L0:237.7502 Policy.

L1:(a) Comply with DoD Directive 4275.5, Acquisition and Management of Industrial

L0:Resources, in processing requests for facilities projects.

L1:(b) Departments and agencies shall submit reports of facilities projects to the House

L0:and Senate Armed Services Committees?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L1:(1) At least 30 days before starting facilities projects involving real property (10

L0:U.S.C. 2662); and

L1:(2) In advance of starting construction for a facilities project regardless of cost.

L1:(c) See PGI 237.7502 for notification guidance for projects that are not included in

L0:the annual budget.

237.7600 Scope

Status: active

L0:237.7600 Scope.

L0:This subpart prescribes procedures for the acquisition of essential contractor

L0:services which support mission-essential functions.

237.7601 Definitions

Status: active

L0:237.7601 Definitions.

L0:As used in this subpart?

L0:Essential contractor service? and ?mission-essential functions? are defined in the

L0:clause at 252.237-7023, Continuation of Essential Contractor Services.

237.7602 Policy

Status: active

L0:237.7602 Policy.

L1:(a) Contractors providing services designated as essential contractor services

L0:must permit continuation of such services during periods of crisis in accordance

L0:with the terms and conditions of their contracts. Generally, only specifically

L0:designated service functions, identified by the functional commander or civilian

L0:equivalent, are considered mission-essential functions, not the entire contract.

L1:(b) For Government-determined essential contractor services, the contractor

L0:shall provide a mission-essential contractor services plan to be incorporated in the

L0:contract. The contracting officer, with input from the functional manager, will

L0:assess the sufficiency of the contractor-provided plan. During a crisis, plan

L0:activation requires contracting officer authorization at the direction of the

L0:appropriate functional commander or civilian equivalent.

L1:(c) Follow the procedures at PGI 207for preparing acquisition plans.

237.7603 Solicitation provision and contract clause

Status: active

L0:237.7603 Solicitation provision and contract clause.

L1:(a) Insert the clause at 252.237-7023, Continuation of Essential Contractor

L0:Services in all solicitations and contracts for services that are in support of mission-

L0:essential functions.

L1:(b) Insert the provision at 252.237-7024, Notice of Continuation of Essential

L0:Contractor Services in all solicitations for services that include the clause 252.237-7023.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

237.7700 Scope of subpart

Status: active

L0:237.7700 Scope of subpart.

L0:This subpart implements Section 898 of Pub. L. 114-92 for the acquisition of

L0:religious-related services to be performed on a U.S. military installation.

237.7701 Policy

Status: active

L0:237.7701 Policy.

L1:(a) Do not exclude nonprofit organizations from competitions for religious-

L0:related services performed on a United States military installation.

L1:(b) See 219.104-70 when an acquisition for religious-related services to be

L0:performed on a U.S. military installation is set aside for any of the small business

L0:concerns identified in FAR 19.000(a)(3).

237.7800 Scope of subpart

Status: active

L0:237.7800 Scope of subpart.

L0:This subpart implements 10 U.S.C. 2387, which requires, under certain

L0:circumstances, the transfer of a contract working dog to the Department of the Air

L0:Force, 341st Training Squadron, for veterinary screening and care (10 U.S.C. 2583).

237.7801 Definition

Status: active

L0:237.7801 Definition.

L0:As used in this subpart?

L0:Contract working dog, means a dog that?

L1:(1) Performs a service for DoD pursuant to a contract; and

L1:(2) Is trained and kenneled by an entity that provides such a dog pursuant to

L0:such a contract.

237.7802 Policy

Status: active

L0:237.7802 Policy.

L1:(a) In accordance with 10 U.S.C. 2387, DoD will transfer a contract working dog

L0:to the Department of the Air Force, 341st Training Squadron, for veterinary

L0:screening and care after the service life of the dog has terminated.

L1:(b) The service life of a contract working dog may be terminated if?

L1:(1) The final contractual obligation of the dog preceding transfer is with
L0:DoD; and
L1:(2) The dog cannot be used by another department or agency of the Federal
L0:Government due to age, injury, or performance.
L1:(c) A contract working dog that has reached the end of its service life will be
L0:transferred for care, reclassification as a military animal, and placement for
L0:adoption (10 U.S.C. 2583).
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37
L0:Defense FAR Supplement (DFARS) Part 237

237.7803 Procedures

Status: active

L0:237.7803 Procedures.
L0:Contracting officers, at the request of the requiring activity, may issue a
L0:determination that the service life of a contract working dog has terminated if the
L0:conditions in 237.7802(b) have been documented by the requiring activity.

237.7804 Contract clause

Status: active

L0:237.7804 Contract clause.
L0:Insert the clause at 252.237-7027, Transfer and Adoption of Military Animals, in
L0:solicitations and contracts, including solicitations and contracts using FAR part 12
L0:procedures for the acquisition of commercial products and commercial services, that
L0:require the services of a contract working dog.

252.237-7997 Notice of Special Standards of Responsibility

Status: active

L0:252.237-7997 Notice of Special Standards of Responsibility.
L0:As prescribed in 237.470(e)(1), insert the following provision:
L0:NOTICE OF SPECIAL STANDARDS OF RESPONSIBILITY
L0:(DEVIATION 2026-O0026)(FEB 2026)
L1:(a) To be determined responsible, the Offeror must meet the general standards of
L0:responsibility set forth at FAR 9.104-1 and the following criteria, as described in
L0:Chapter 3, General Standards, of ?Government Auditing Standards.?
L1:(1) Qualifications;
L1:(2) Independence; and
L1:(3) Quality Control.
L1:(b) ?Government Auditing Standards? is issued by the Comptroller General of the
L0:United States. To obtain a digital copy or for more information on obtaining a hardcopy
L0:of the ?Government Auditing Standards,? see website: <https://www.gao.gov/yellowbook>.

L1:(c) The apparently successful Offeror, before award, shall give the Contracting Officer evidence that it is licensed by the cognizant licensing authority in the state or other political jurisdiction where the Offeror operates its professional practice.
L0:(End of provision)

252.237-7998 Training for Contractor Personnel Interacting with Detainees

Status: active

L0:252.237-7998 Training for Contractor Personnel Interacting with Detainees.

L0:As prescribed in 237.871-4, insert the following clause:

L0:TRAINING FOR CONTRACTOR PERSONNEL INTERACTING WITH DETAINEES

L0:(DEVIATION 2026-00023) (FEB 2026)

L1:(a) Definitions. As used in this clause?

L0:“Combatant Commander” means the commander of a unified or specified

L0:combatant command established in accordance with 10 U.S.C. 161.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L0:“Detainee” means a person in the custody or under the physical control of the

L0:Department of Defense on behalf of the United States Government as a result of armed

L0:conflict or other military operation by United States armed forces.

L0:“Personnel interacting with detainees” means personnel who, in the course of

L0:their duties, are expected to interact with detainees.

L1:(b) Training requirement. This clause implements Section 1092 of the National

L0:Defense Authorization Act for Fiscal Year 2005 (Pub. L. 108-375).

L1:(1) The Combatant Commander responsible for the area where a detention or

L0:interrogation facility is located will arrange for training to be provided to contractor

L0:personnel interacting with detainees. The training will address the international

L0:obligations and laws of the United States applicable to the detention of personnel,

L0:including the Geneva Conventions. The Combatant Commander will arrange for a

L0:training receipt document to be provided to personnel who have completed the training.

L2:(2)(i) The Contractor shall arrange for its personnel interacting with detainees

L0:to?

L1:(A) Receive the training specified in paragraph (b)(1) of this clause?

L1:(1) Prior to interacting with detainees, or as soon as possible if, for

L0:compelling reasons, the Contracting Officer authorizes interaction with detainees prior

L0:to receipt of such training; and

L1:(2) Annually thereafter; and

L1:(B) Provide a copy of the training receipt document specified in paragraph

L2:(b)(1) of this clause to the Contractor for retention.

L1:(ii) To make these arrangements, the following points of contact apply:

L0:[Contracting Officer to insert applicable contact information cited in PGI 237.871-3(b).]

L1:(3) The Contractor shall retain a copy of the training receipt document(s)

L0:provided in accordance with paragraphs (b)(1) and (2) of this clause until the contract is

L0:closed, or 3 years after all work required by the contract has been completed and

L0:accepted by the Government, whichever is sooner.

L1:(c) Subcontracts. The Contractor shall include the substance of this clause,

L0:including this paragraph (c), in all subcontracts, including subcontracts for commercial

L0:services, that may require subcontractor personnel to interact with detainees in the

L0:course of their duties.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

252.237-7001 Compliance with Audit Standards

Status: active

L0:252.237-7001 Compliance with Audit Standards.

L0:As prescribed in 237.470(e)(2), insert the following clause:

L0:COMPLIANCE WITH AUDIT STANDARDS (MAY 2000)

L0:The Contractor, in performance of all audit services under this contract, shall comply

L0:with ?Government Auditing Standards? issued by the Comptroller General of the

L0:United States.

L0:(End of clause)

252.237-7003 Requirements

Status: active

L0:252.237-7003 Requirements.

L0:As prescribed in 237.7003(a) and (a)(1), insert the following clause:

L0:REQUIREMENTS (DEC 1991)

L1:(a) Except as provided in paragraphs (c) and (d) of this clause, the Government will

L0:order from the Contractor all of its requirements in the area of performance for the

L0:supplies and services listed in the schedule of this contract.

L1:(b) Each order will be issued as a delivery order and will list?

L1:(1) The supplies or services being ordered;

L1:(2) The quantities to be furnished;

L1:(3) Delivery or performance dates;

L1:(4) Place of delivery or performance;

L1:(5) Packing and shipping instructions;

L1:(6) The address to send invoices; and

L1:(7) The funds from which payment will be made.

L1:(c) The Government may elect not to order supplies and services under this contract

L0:in instances where the body is removed from the area for medical, scientific, or other

L0:reason.

L1:(d) In an epidemic or other emergency, the contracting activity may obtain services

L0:beyond the capacity of the Contractor's facilities from other sources.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L1:(e) Contracting Officers of the following activities may order services and supplies

L0:under this contract?

L0:(End of clause)

252.237-7004 Area of Performance

Status: active

L0:252.237-7004 Area of Performance.

L0:As prescribed in 237.7003(a) and (a)(2), insert the following clause:

L0:AREA OF PERFORMANCE (DEC 1991)

L1:(a) The area of performance is as specified in the contract.

L1:(b) The Contractor shall take possession of the remains at the place where they are

L0:located, transport them to the Contractor's place of preparation, and later transport

L0:them to a place designated by the Contracting Officer.

L1:(c) The Contractor will not be reimbursed for transportation when both the place

L0:where the remains were located, and the delivery point are within the area of

L0:performance.

L1:(d) If remains are located outside the area of performance, the Contracting Officer

L0:may place an order with the Contractor under this contract or may obtain the services

L0:elsewhere. If the Contracting Officer requires the Contractor to transport the remains

L0:into the area of performance, the Contractor shall be paid the amount per mile in the

L0:schedule for the number of miles required to transport the remains by a reasonable

L0:route from the point where located to the boundary of the area of performance.

L1:(e) The Contracting Officer may require the Contractor to deliver remains to any

L0:point within 100 miles of the area of performance. In this case, the Contractor shall be

L0:paid the amount per mile in the schedule for the number of miles required to transport

L0:the remains by a reasonable route from the boundary of the area of performance to the

L0:delivery point.

L0:(End of clause)

252.237-7005 Performance and Delivery

Status: active

L0:252.237-7005 Performance and Delivery.

L0:As prescribed in 237.7003(a) and (a)(3), insert the following clause:

L0:PERFORMANCE AND DELIVERY (DEC 1991)

L1:(a) The Contractor shall furnish the material ordered and perform the services

L0:specified as promptly as possible but not later than 36 hours after receiving notification

L0:to remove the remains, excluding the time necessary for the Government to inspect and

L0:check results of preparation.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L1:(b) The Government may, at no additional charge, require the Contractor to hold
L0:the remains for an additional period not to exceed 72 hours from the time the remains
L0:are casketed and final inspection completed.
L0:(End of clause)

252.237-7006 Subcontracting

Status: active

L0:252.237-7006 Subcontracting.
L0:As prescribed in 237.7003(a) and (a)(4), insert the following clause:

L0:SUBCONTRACTING (DEC 1991)

L0:The Contractor shall not subcontract any work under this contract without the
L0:Contracting Officer's written approval. This clause does not apply to contracts of
L0:employment between the Contractor and its personnel.
L0:(End of clause)

252.237-7007 Termination for Default

Status: active

L0:252.237-7007 Termination for Default.
L0:As prescribed in 237.7003(a) and (a)(5), insert the following clause:

L0:TERMINATION FOR DEFAULT (DEC 1991)

L1:(a) This clause supplements and is in addition to the Default clause of this contract.
L1:(b) The Contracting Officer may terminate this contract for default by written notice
L0:without the ten-day notice required by paragraph (a)(2) of the Default clause if?
L1:(1) The Contractor, through circumstances reasonably within its control or that
L0:of its employees, performs any act under or in connection with this contract, or fails in
L0:the performance of any service under this contract and the act or failures may
L0:reasonably be considered to reflect discredit upon the Department of Defense in
L0:fulfilling its responsibility for proper care of remains;
L1:(2) The Contractor, or its employees, solicits relatives or friends of the deceased
L0:to purchase supplies or services not under this contract. (The Contractor may furnish
L0:supplies or arrange for services not under this contract, only if representatives of the
L0:deceased voluntarily request, select, and pay for them.);
L1:(3) The services or any part of the services are performed by anyone other than
L0:the Contractor or the Contractor's employees without the written authorization of the
L0:Contracting Officer;
L1:(4) The Contractor refuses to perform the services required for any particular
L0:remains; or
L1:(5) The Contractor mentions or otherwise uses this contract in its advertising in
L0:any way.
L0:(End of clause)
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

252.237-7008 Group Interment

Status: active

L0:252.237-7008 Group Interment.

L0:As prescribed in 237.7003(a) and (a)(6), insert the following clause:

L0:GROUP INTERMENT (DEC 1991)

L0:The Government will pay the Contractor for supplies and services provided for remains

L0:interred as a group on the basis of the number of caskets furnished, rather than on the

L0:basis of the number of persons in the group.

L0:(End of clause)

252.237-7009 Permits

Status: active

L0:252.237-7009 Permits.

L0:As prescribed in 237.7003(a) and (a)(7), insert the following clause:

L0:PERMITS (DEC 1991)

L0:The Contractor shall meet all State and local licensing requirements and obtain and

L0:furnish all necessary health department and shipping permits at no additional cost to

L0:the Government. The Contractor shall ensure that all necessary health department

L0:permits are in order for disposition of the remains.

L0:(End of clause)

252.237-7010 Prohibition on Interrogation of Detainees by Contractor

Status: active

L0:252.237-7010 Prohibition on Interrogation of Detainees by Contractor

L0:Personnel.

L0:As prescribed in 237.873-5, insert the following clause:

L0:PROHIBITION ON INTERROGATION OF DETAINEES BY CONTRACTOR

L0:PERSONNEL (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?"Detainee?" means any person captured, detained, held, or otherwise under the

L0:hostilities. This includes, but is not limited to, enemy prisoners of war, civilian

L0:internees, and retained personnel. This does not include DoD personnel or DoD

L0:contractor personnel being held for law enforcement purposes.

L0:?"Interrogation of detainees?" means a systematic process of formally and officially

L0:questioning a detainee for the purpose of obtaining reliable information to satisfy

L0:foreign intelligence collection requirements.

L1:(b) Contractor personnel shall not interrogate detainees.

L1:(c) Subcontracts. The Contractor shall include the substance of this clause,

L0:including this paragraph (c), in all subcontracts, including subcontracts for commercial
L0:services, that may require subcontractor personnel to interact with detainees in the
L0:course of their duties.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

252.237-7011 Preparation History

Status: active

L0:252.237-7011 Preparation History.

L0:As prescribed in 237.7003(a) and (a)(8), insert the following clause:

L0:PREPARATION HISTORY (DEC 1991)

L0:For each body prepared, or for each casket handled in a group interment, the

L0:Contractor shall state briefly the results of the embalming process on a certificate

L0:furnished by the Contracting Officer.

252.237-7012 Instruction to Offerors (Count-of-Articles)

Status: active

L0:252.237-7012 Instruction to Offerors (Count-of-Articles).

L0:As prescribed in 237.7101(a), use the following provision:

L0:(End of clause)

L0:INSTRUCTION TO OFFERORS (COUNT-OF-ARTICLES) (DEC 1991)

L1:(a) The Offeror shall include unit prices for each item in a lot. Unit prices shall

L0:include all costs to the Government of providing the services, including pickup and

L0:delivery charges.

L1:(b) Failure to offer on any item in a lot shall be cause for rejection of the offer on

L0:that lot. The Contracting Officer will evaluate offers based on the estimated quantities

L0:in the solicitation.

L1:(c) Award generally will be made to a single offeror for all lots. However, the

L0:Contracting Officer may award by individual lot when it is more advantageous to the

L0:Government.

L1:(d) Prospective offerors may inspect the types of articles to be serviced. Contact the

L0:Contracting Officer to make inspection arrangements.

252.237-7013 Instruction to Offerors (Bulk Weight)

Status: active

L0:252.237-7013 Instruction to Offerors (Bulk Weight).

L0:As prescribed in 237.7101(b), insert the following provision:

L0:(End of provision)

L0:INSTRUCTION TO OFFERORS (BULK WEIGHT) (DEC 1991)

L1:(a) Offers shall be submitted on a unit price per pound of serviced laundry. Unit
L0:prices shall include all costs to the Government of providing the service, including
L0:pickup and delivery charges.

L1:(b) The Contracting Officer will evaluate bids based on the estimated pounds of
L0:serviced laundry stated in the solicitation.

L1:(c) Award generally will be made to a single offeror for all lots. However, the
L0:Contracting Officer may award by individual lot when it is more advantageous to the
L0:Government.

L1:(d) Prospective offerors may inspect the types of articles to be serviced. Contact the
L0:Contracting Officer to make inspection arrangements.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37
L0:Defense FAR Supplement (DFARS) Part 237

252.237-7014 Loss or Damage (Count-of-Articles)

Status: active

L0:252.237-7014 Loss or Damage (Count-of-Articles).

L0:As prescribed in 237.7101(c), insert the following clause:

L0:(End of provision)

L0:LOSS OR DAMAGE (COUNT-OF-ARTICLES) (DEC 1991)

L1:(a) The count-of-articles will be?

L1:(1) The count of the Contracting Officer; or

L1:(2) The count agreed upon as a result of a joint count by the Contractor and the
L0:Contracting Officer at the time of delivery to the Contractor.

L1:(b) The Contractor shall?

L1:(1) Be liable for return of the number and kind of articles furnished for service
L0:under this contract; and

L1:(2) Shall indemnify the Government for any loss or damage to such articles.

L1:(c) The Contractor shall pay to the Government the value of any lost or damaged
L0:property using Federal supply schedule price lists. If the property is not on these price
L0:lists, the Contracting Officer shall determine a fair and reasonable price.

L1:(d) The Contracting Officer will allow credit for any depreciation in the value of the
L0:property at the time of loss or damage. The Contracting Officer and the Contractor
L0:shall mutually determine the amount of the allowable credit.

L1:(e) Failure to agree upon the value of the property or on the amount of credit due
L0:will be treated as a dispute under the Disputes clause of this contract.

L1:(f) In case of damage to any property that the Contracting Officer and the
L0:Contractor agree can be satisfactorily repaired, the Contractor may repair the property
L0:at its expense in a manner satisfactory to the Contracting Officer, rather than make
L0:payment under paragraph (c) of this clause.

252.237-7015 Loss or Damage (Weight of Articles)

Status: active

L0:252.237-7015 Loss or Damage (Weight of Articles).

L0:As prescribed in 237.7101(d), insert the following clause:

L0:(End of clause)

L0:LOSS OR DAMAGE (WEIGHT OF ARTICLES) (DEC 1991)

L1:(a) The Contractor shall?

L1:(1) Be liable for return of the articles furnished for service under this contract;

L0:and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L1:(2) Indemnify the Government for any articles delivered to the Contractor for

L0:servicing under this contract that are lost or damaged, and in the opinion of the

L0:Contracting Officer, cannot be repaired satisfactorily.

L1:(b) The Contractor shall pay to the Government _____ per pound for lost or

L0:damaged articles. The Contractor shall pay the Government only for losses which

L0:exceed the maximum weight loss in paragraph (e) of this clause.

L1:(c) Failure to agree on the amount of credit due will be treated as a dispute under

L0:the Disputes clause of this contract.

L1:(d) In the case of damage to any articles that the Contracting Officer and the

L0:Contractor agree can be satisfactorily repaired, the Contractor shall repair the articles

L0:at its expense in a manner satisfactory to the Contracting Officer.

L1:(e) The maximum weight loss allowable in servicing the laundry is _____ percent of

L0:the weight recorded on delivery tickets when the laundry is picked up. Any weight loss

L0:in excess of this amount shall be subject to the loss provisions of this clause.

252.237-7016 Delivery Tickets

Status: active

L0:252.237-7016 Delivery Tickets.

L0:(End of clause)

L0:Basic. As prescribed in 237.7101(e) and (e)(1), insert the following clause:

L0:DELIVERY TICKETS?BASIC (NOV 2014)

L1:(a) The Contractor shall complete delivery tickets in the number of copies required

L0:and in the form approved by the Contracting Officer, when it receives the articles to be

L0:serviced.

L1:(b) The Contractor shall include one copy of each delivery ticket with its invoice for

L0:payment.

L0:(End of clause)

L0:Alternate I. As prescribed in 237.7101(e) and (e)(2), insert the following clause,

L0:which includes paragraphs (c), (d), and (e) not included in the basic clause:

L0:DELIVERY TICKETS?ALTERNATE I (NOV 2014)

L1:(a) The Contractor shall complete delivery tickets in the number of copies required

L0:and in the form approved by the Contracting Officer, when it receives the articles to be

L0:serviced.

L1:(b) The Contractor shall include one copy of each delivery ticket with its invoice for

L0:payment.

L1:(c) Before the Contractor picks up articles for service under this contract, the

L0:Contracting Officer will ensure that?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L1:(1) Each bag contains only articles within a single bag type as specified in the

L0:schedule; and

L1:(2) Each bag is weighed, and the weight and bag type are identified on the bag.

L1:(d) The Contractor shall, at time of pickup?

L1:(1) Verify the weight and bag type and record them on the delivery ticket; and

L1:(2) Provide the Contracting Officer, or representative, a copy of the delivery

L0:ticket.

L1:(e) At the time of delivery, the Contractor shall record the weight and bag type of

L0:serviced laundry on the delivery ticket. The Contracting Officer will ensure that this

L0:weight and bag type are verified at time of delivery.

L0:(End of clause)

L0:Alternate II. As prescribed in 237.7101(e) and (e)(3), insert the following clause,

L0:which includes paragraphs (c), (d), and (e) not included in the basic clause:

L0:DELIVERY TICKETS?ALTERNATE II (NOV 2014)

L1:(a) The Contractor shall complete delivery tickets in the number of copies required

L0:and in the form approved by the Contracting Officer, when it receives the articles to be

L0:serviced.

L1:(b) The Contractor shall include one copy of each delivery ticket with its invoice for

L0:payment.

L1:(c) Before the Contractor picks up articles for service under this contract, the

L0:Contracting Officer will ensure that each bag is weighed and that the weight is

L0:identified on the bag.

L1:(d) The Contractor, at time of pickup, shall verify and record the weight on the

L0:delivery ticket and shall provide the Contracting Officer, or representative, a copy of the

L0:delivery ticket.

L1:(e) At the time of delivery, the Contractor shall record the weight of serviced

L0:laundry on the delivery ticket. The Contracting Officer will ensure that this weight is

L0:verified at time of delivery.

252.237-7017 Individual Laundry

Status: active

L0:252.237-7017 Individual Laundry.

L0:As prescribed in 237.7101(f), insert the following clause:

L0:(End of clause)

L0:INDIVIDUAL LAUNDRY (DEC 1991)

L1:(a) The Contractor shall provide laundry service under this contract on both a unit

L0:bundle and on a piece-rate bundle basis for individual personnel.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L1:(b) The total number of pieces listed in the "Estimated Quantity" column in the L0:schedule is the estimated amount of individual laundry for this contract. The estimate L0:is for information only and is not a representation of the amount of individual laundry L0:to be ordered. Individuals may elect whether or not to use the laundry services.

L1:(c) Charges for individual laundry will be on a per unit bundle or a piece-rate basis. L0:The Contractor shall provide individual laundry bundle delivery tickets for use by the L0:individuals in designating whether the laundry is a unit bundle or a piece-rate bundle. L0:An individual laundry bundle will be accompanied by a delivery ticket listing the L0:contents of the bundle.

L1:(d) The maximum number of pieces to be allowed per bundle is as specified in the L0:schedule and as follows?

L1:(1) Bundle consisting of 26 pieces, including laundry bag. This bundle will L0:contain approximately _____ pieces of outer garments which shall be starched and L0:pressed. Outer garments include, but are not limited to, shirts, trousers, jackets, L0:dresses, and coats.

L1:(2) Bundle consisting of 13 pieces, including laundry bag. This bundle will L0:contain approximately _____ pieces of outer garments which shall be starched and L0:pressed. Outer garments include, but are not limited to, shirts, trousers, jackets, L0:dresses, and coats.

252.237-7018 Special Definitions of Government Property

Status: active

L0:252.237-7018 Special Definitions of Government Property.

L0:As prescribed in 237.7101(g), use the following clause:

L0:(End of clause)

L0:SPECIAL DEFINITIONS OF GOVERNMENT PROPERTY (DEC 1991)

L0:Articles delivered to the Contractor to be laundered or dry-cleaned, including any L0:articles which are actually owned by individual Government personnel, are L0:Government-owned property, not Government-furnished property. Government-owned L0:property does not fall under the requirements of any Government-furnished property L0:clause of this contract.

252.237-7022 Services at Installations Being Closed

Status: active

L0:252.237-7022 Services at Installations Being Closed.

L0:As prescribed in 237.7402, use the following clause:

L0:(End of clause)

L0:SERVICES AT INSTALLATIONS BEING CLOSED (MAY 1995)

L0:Professional employees shall be used by the local government to provide services under L0:this contract to the extent that professionals are available in the area under the

L0:jurisdiction of such government.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

252.237-7023 Continuation of Essential Contractor Services

Status: active

L0:252.237-7023 Continuation of Essential Contractor Services.

L0:As prescribed in 237.7603(a), use the following clause:

L0:CONTINUATION OF ESSENTIAL CONTRACTOR SERVICES (OCT 2010)

L1:(a) Definitions. As used in this clause-

L1:(1) ?Essential contractor service? means a service provided by a firm or

L0:individual under contract to DoD to support mission-essential functions, such as

L0:support of vital systems, including ships owned, leased, or operated in support of

L0:military missions or roles at sea; associated support activities, including installation,

L0:garrison, and base support services; and similar services provided to foreign military

L0:sales customers under the Security Assistance Program. Services are essential if the

L0:effectiveness of defense systems or operations has the potential to be seriously impaired

L0:by the interruption of these services, as determined by the appropriate functional

L0:commander or civilian equivalent.

L1:(2) ?Mission-essential functions? means those organizational activities that

L0:must be performed under all circumstances to achieve DoD component missions or

L0:responsibilities, as determined by the appropriate functional commander or civilian

L0:equivalent. Failure to perform or sustain these functions would significantly affect

L0:DoD's ability to provide vital services or exercise authority, direction, and control.

L1:(b) The Government has identified all or a portion of the contractor services

L0:performed under this contract as essential contractor services in support of mission

L0:essential functions. These services are listed in attachment __, Mission-Essential

L0:Contractor Services, dated _____.

L2:(c)(1) The Mission-Essential Contractor Services Plan submitted by the

L0:Contractor, is incorporated in this contract.

L1:(2) The Contractor shall maintain and update its plan as necessary. The

L0:Contractor shall provide all plan updates to the Contracting Officer for approval.

L1:(3) As directed by the Contracting Officer, the Contractor shall participate

L0:in training events, exercises, and drills associated with Government efforts to test

L0:the effectiveness of continuity of operations procedures and practices.

L2:(d)(1) Notwithstanding any other clause of this contract, the contractor shall be

L0:responsible to perform those services identified as essential contractor services

L0:during crisis situations (as directed by the Contracting Officer), in accordance with

L0:its Mission-Essential Contractor Services Plan.

L1:(2) In the event the Contractor anticipates not being able to perform any of

L0:the essential contractor services identified in accordance with paragraph (b) of this

L0:section during a crisis situation, the Contractor shall notify the Contracting Officer

L0:or other designated representative as expeditiously as possible and use its best
L0:efforts to cooperate with the Government in the Government's efforts to maintain
L0:the continuity of operations.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37
L0:Defense FAR Supplement (DFARS) Part 237
L1:(e) The Government reserves the right in such crisis situations to use Federal
L0:employees, military personnel or contract support from other contractors, or to
L0:enter into new contracts for essential contractor services.
L1:(f) Changes. The Contractor shall segregate and separately identify all costs
L0:incurred in continuing performance of essential services in a crisis situation. The
L0:Contractor shall notify the Contracting Officer of an increase or decrease in costs
L0:within ninety days after continued performance has been directed by the
L0:Contracting Officer, or within any additional period that the Contracting Officer
L0:approves in writing, but not later than the date of final payment under the contract.
L0:The Contractor's notice shall include the Contractor's proposal for an equitable
L0:adjustment and any data supporting the increase or decrease in the form prescribed
L0:by the Contracting Officer. The parties shall negotiate an equitable price
L0:adjustment to the contract price, delivery schedule, or both as soon as is practicable
L0:after receipt of the Contractor's proposal.
L1:(g) The Contractor shall include the substance of this clause, including this
L0:paragraph (g), in subcontracts for the essential services.
L0:(End of Clause)

252.237-7024 Notice of Continuation of Essential Contractor Services

Status: active

L0:252.237-7024 Notice of Continuation of Essential Contractor Services.
L0:As prescribed in 237.7603(b), use the following provision:
L0:NOTICE OF CONTINUATION OF ESSENTIAL CONTRACTOR SERVICES
L0:(OCT 2010)
L1:(a) Definitions. "Essential contractor service" and "mission-essential functions"
L0:have the meanings given in the clause at 252.237-7023, Continuation of Essential
L0:Contractor Services, in this solicitation.
L1:(b) The offeror shall provide with its offer a written plan describing how it will
L0:continue to perform the essential contractor services listed in attachment ____, Mission
L0:Essential Contractor Services, dated ____, during periods of crisis. The offeror
L0:shall-
L1:(1) Identify provisions made for the acquisition of essential personnel and
L0:resources, if necessary, for continuity of operations for up to 30 days or until normal
L0:operations can be resumed;
L1:(2) Address in the plan, at a minimum?
L1:(i) Challenges associated with maintaining essential contractor services
L0:during an extended event, such as a pandemic that occurs in repeated waves;
L1:(ii) The time lapse associated with the initiation of the acquisition of

L0:essential personnel and resources and their actual availability on site;
 L1:(iii) The components, processes, and requirements for the identification,
 L0:training, and preparedness of personnel who are capable of relocating to alternate
 L0:facilities or performing work from home;
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37
 L0:Defense FAR Supplement (DFARS) Part 237
 L1:(iv) Any established alert and notification procedures for mobilizing
 L0:identified ?essential contractor service? personnel; and
 L1:(v) The approach for communicating expectations to contractor employees
 L0:regarding their roles and responsibilities during a crisis.
 L0:(End of provision)

252.237-7025 Preaward Transparency Requirements for Firms Offering to

Status: active

L0:252.237-7025 Preaward Transparency Requirements for Firms Offering to
 L0:Support Department of Defense Audits?Representation and Disclosure.
 L0:As prescribed in 237.470(e)(3), use the following provision:

L0:PREAWARD TRANSPARENCY REQUIREMENTS FOR FIRMS OFFERING TO L0:SUPPORT DEPARTMENT OF DEFENSE AUDITS?REPRESENTATION AND L0:DISCLOSURE (OCT 2022)

L1:(a) Representation. The Offeror represents that within the 3-year period
 L0:preceding this offer, the Offeror and/or any of its principals or employees have []
 L0:have not [] been the subject of disciplinary proceedings before an entity with the
 L0:authority to enforce compliance with rules or laws applying to audit services or
 L0:audit remediation services offered by the Offeror, that?
 L1:(1) Are not yet fully adjudicated or settled; or
 L1:(2) Were fully adjudicated or settled against the Offeror and/or its principals
 L0:or employees.
 L1:(b) Disclosure. If the Offeror checked ?have? in the representation in paragraph
 L1:(a) of this provision, the Offeror shall, at a minimum, disclose for each such
 L0:proceeding?
 L1:(1) The entity hearing the case;
 L1:(2) The case or file number; and
 L1:(3) The allegation or conduct at issue and, if fully adjudicated or settled, a
 L0:brief description of the outcome.
 L1:(c) Treatment of statements. The Government will safeguard and treat as
 L0:confidential all statements provided pursuant to this provision where the statement
 L0:has been marked ?confidential? or ?proprietary? by the Offeror. Statements so
 L0:marked will not be released by the Government to the public pursuant to a request
 L0:under the Freedom of Information Act, 5 U.S.C. 552, without prior notification to
 L0:the Offeror and opportunity for the Offeror to claim an exemption from release. The
 L0:Government will treat any statement provided pursuant to this provision as
 L0:confidential to the extent required by any other applicable law.

L0:(End of provision)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

252.237-7026 Postaward Transparency Requirements for Firms that

Status: active

L0:252.237-7026 Postaward Transparency Requirements for Firms that

L0:Support Department of Defense Audits.

L0:As prescribed in 237.470(e)(4), use the following clause:

L0:POSTAWARD TRANSPARENCY REQUIREMENTS FOR FIRMS THAT

L0:SUPPORT DEPARTMENT OF DEFENSE AUDITS (OCT 2022)

L1:(a) Prior to each contract action under this contract (including renewal or

L0:modification), the Contractor shall disclose the details of any disciplinary

L0:proceedings, with respect to the firm and/or its principals or employees, before an

L0:entity with the authority to enforce compliance with rules or laws applying to audit

L0:services or audit remediation services offered by the Contractor, and whether there

L0:has been any change with regard to previously reported proceedings since the last

L0:contract action.

L1:(b) The disclosure shall, at a minimum, include?

L1:(1) The entity hearing the case;

L1:(2) The case or file number; and

L1:(3) A brief description of the allegation or conduct at issue and, if fully

L0:adjudicated or settled, a brief description of the outcome.

L1:(c) The Government will safeguard and treat as confidential all statements

L0:provided pursuant to this clause where the statement has been marked

L0:confidential? or ?proprietary? by the Contractor. Statements so marked will not be

L0:released by the Government to the public pursuant to a request under the Freedom

L0:of Information Act, 5 U.S.C. 552, without prior notification to the Contractor and

L0:opportunity for the Contractor to claim an exemption from release. The

L0:Government will treat any statement provided pursuant to this clause as

L0:confidential to the extent required by any other applicable law.

L0:(End of clause)

252.237-7027 Transfer and Adoption of Military Animals

Status: active

L0:252.237-7027 Transfer and Adoption of Military Animals.

L0:As prescribed in 237.7804, use the following clause:

L0:TRANSFER AND ADOPTION OF MILITARY ANIMALS (FEB 2024)

L1:(a) Definition. As used in this clause?

L0:Contract working dog? means a dog that?

L1:(1) Performs a service for DoD pursuant to a contract; and

L1:(2) Is trained and kenneled by an entity that provides such a dog

L0:pursuant to such a contract.

L1:(b) In accordance with 10 U.S.C. 2387, if the Contracting Officer determines

L0:that the service life of a contract working dog has terminated, the dog will be

L0:transferred to the Department of the Air Force, 341st Training Squadron, for

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L0:veterinary screening and care, reclassification as a military animal, and placement

L0:for adoption in accordance with 10 U.S.C. 2583.

L1:(c) The service life of a contract working dog may be terminated if the

L0:Contracting Officer determines that?

L1:(1) The final contractual obligation of the dog preceding transfer is with

L0:DoD; and

L1:(2) The dog cannot be used by another department or agency of the Federal

L0:Government due to age, injury, or performance.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L0:PGI 237.2?SERVICE CONTRACTING

L0:PGI 237.2?PERSONAL SERVICES

L0:PGI 237.201-170 Policy.

L2:(a)(1) Generally, the determination and finding (D&F) should authorize one contract at a

L0:time; however, an authorizing official may issue a blanket D&F for classes of contracts.

L1:(2) Prepare each D&F in accordance with FAR 1.5 and include a determination

L0:that?

L1:(i) The duties are of a temporary or intermittent nature;

L1:(ii) Acquisition of the services is advantageous to the national defense;

L1:(iii) DoD personnel with necessary skills are not available;

L1:(iv) Excepted appointment cannot be obtained;

L1:(v) A nonpersonal services contract is not practicable;

L1:(vi) Statutory authority, 5 U.S.C. 3109 and other legislation, apply; and

L1:(vii) Any other determination required by statutes has been made.

L0:PGI 237.4?ADVISORY AND ASSISTANCE SERVICES

L0:PGI 237.470 Acquisition of audit services.

L0:The following DoD publications govern the conduct of audits:

L1:(1) DoDI 7600.2, Audit Policies, provides DoD audit policies.

L1:(2) DoDI 7600.6, Audit of Nonappropriated Fund Instrumentalities and Related Activities,

L0:provides guidance to audit organizations for audits of nonappropriated fund organizations.

L1:(3) DoD 7600.7-M, DoD Audit Manual, provides policy and guidance to DoD audit

L0:organizations for the monitoring of audit services provided by non-Federal auditors.

L0:PGI 237.8?OTHER SERVICE CONSIDERATIONS.

L0:PGI 237.802 Presolicitation.

L0:PGI 237.802-71 Limitation on service contracts for military flight simulators.

L0:When reviewing requirements or participating in acquisition planning that would result in a

L0:military department or defense agency acquiring a military flight simulator, the contracting

L0:officer will notify the program officials of the prohibition from using a service contract to

L0:acquire a military flight simulator at 237.802-71(b).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L1:(1) If the program officials decide to request a waiver from the Secretary of Defense to

L0:use a service contract, the contracting officer will process a request for waiver by submitting

L0:the request and appropriate documentation relating to the requirements of DFARS 237.802-

L0:71(b) to the Office of the Principal Director, Defense Pricing, Contracting, and Acquisition

L0:Policy (Contract Policy) (DPCAP/CP) via email at

L1:(2) The DPCAP/CP action officer will process the request through the Office of the

L0:Secretary of Defense and will forward the appropriate documentation to the congressional

L0:defense committees. The contracting officer must not award a contract until notified by the

L0:DPCAP/CP action officer that the waiver has been approved, the appropriate documentation

L0:has been transmitted to the congressional defense committees, and the required 30 days

L0:have passed.

L0:PGI 237.802-73 Prohibition on contracts for services of senior mentors.

L0:DoD policies on senior mentors are set forth in (1) Secretary of Defense memorandum,

L0:Defense memorandum, subject: Implementation Guidance on Senior Mentors Policy (July

L0:8, 2010) (see here).

L0:PGI 237.802-74 Taxonomy for the acquisition of services and supplies & equipment.

L0:Click here for OUSD(AT&L) DPAP memorandum, ?Taxonomy for the Acquisition of Services

L0:and Supplies & Equipment,? dated August 27, 2012. An Excel version of ?Acquisition of

L0:Services and Supplies & Equipment Taxonomy? is available here.

L0:PGI 237.802-75 Acquisition of Services pathway.

L0:The Adaptive Acquisition Framework, Acquisition of Services, is available via the internet at

L0:<https://aaf.dau.edu/aaf/services/>.

L0:PGI 237.802-79 Private sector notification requirements in support of in-sourcing

L0:actions.

L2:(b)(i) The notification will?

L1:(A) Be provided within 20 business days of the contracting officer's receipt of a

L0:decision from the cognizant component in-sourcing program official;

L1:(B) Summarize the requiring official's final determination as to why the service is

L0:being in-sourced; and

L1:(C) Be coordinated with the component's in-sourcing program official.

L1:(ii) No formal hiring or contract-related actions may be initiated prior to such

L0:notification, except for preliminary internal actions associated with hiring or contract

L0:modification.

L1:(iii) Click here for memorandum, ?Private Sector Notification Requirements in

L0:Support of In-sourcing Actions,? dated January 29, 2013.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L0:PGI 237.871 Training for contractor personnel interacting with detainees.

L0:PGI 237.871-3 Policy.

L2:(b)(i) Geographic areas of responsibility. With regard to training for contractor personnel

L0:interacting with detainees?

L1:(A) The Commander, U.S. Southern Command, is responsible for the U.S.

L0:military detention center at Guantanamo Bay, Cuba.

L1:(B) The Commander, U.S. Joint Forces Command, is responsible for the Navy

L0:Consolidated Brig, Charleston, SC.

L1:(C) The combatant commander geographic areas of responsibility can be found

L0:at: <https://www.war.gov/Resources/Military-Departments/DOD-Websites/>.

L1:(ii) Contact information for each command:

L0:US Central Command (USCENTCOM)

L0:Commander, Combined Forces Land Component Commander (CFLCC)

L0:a.k.a. Third Army, Ft. McPherson, Atlanta, GA

L0:Staff Judge Advocate (SJA) Forward, Kuwait

L0:US European Command (USEUCOM)

L0:Logistics and Security Assistance Directorate

L0:Chief, Contingency Contracting and Contract Policy Division (USEUCOM J4-LS)

L0:US Joint Forces Command (USJFCOM)

L0:**Applicable to potential detainees in the United States at Navy Consolidated Brig,

L0:Charleston, SC

L0:Headquarters, USJFCOM (J355)

L0:Personnel Recovery & Special Operations Division (J355)

L0:US Northern Command (USNORTHCOM)

L0:Not applicable to USNORTHCOM; see US Joint Forces Command

L0:US Pacific Command (USPACOM)

L0:Headquarters, Office of the Staff Judge Advocate (SJA)

L0:Deputy Staff Judge Advocate

L0:US Southern Command (USSOUTHCOM)

L0:Headquarters, Office of the Staff Judge Advocate (SJA)

L0:Joint Task Force Guantanamo Bay

L0:US Special Operations Command (USSOCOM)

L0:Headquarters, Office of the Staff Judge Advocate (SJA)

L0:Attn: Staff Judge Advocate

L0:PGI 237.872 Service contracts surveillance.

L0:Quality assurance surveillance plans are prepared in conjunction with the preparation of

L0:the performance work statement, statement of work, or statement of objectives for

L0:solicitations and contracts for services. These plans should be tailored to address the

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L0:performance risks inherent in the specific contract type and the work effort addressed

L0:by the contract. (See FAR subpart 46.4.) The plan will include a requirement for

L0:surveillance of the contractor's implementation of the clause at FAR 52.222-50,

L0:Combating Trafficking in Persons (see PGI 222.1703). Retain quality assurance

L0:surveillance plans in the contract file.

L0:PGI 237.873 Prohibition on interrogation of detainees by contractor personnel.

L0:PGI 237.873-3 Policy.

L2:(3)(i) DoD Instruction 1100.22, Policy and Procedures for Determining

L0:Workforce Mix,

L0:(<https://www.esd.whs.mil/Portals/54/Documents/DD/issuances/dodi/110022p.pdf?ver=2>

L0:019-03-11-081731-063).

L1:(ii) DoD Directive 2310.01E, The Department of Defense Detainee Program

L0:(<https://www.esd.whs.mil/Portals/54/Documents/DD/issuances/dodd/231001e.pdf?ver=6>

L0:y1Oz3QqY1slOmu_p9g9Fw%3d%3d).

L1:(iii) DoD Directive 3115.09, DoD Intelligence Interrogations, Detainee

L0:Debriefings, and Tactical Questioning,

L0:(<https://www.esd.whs.mil/Portals/54/Documents/DD/issuances/dodd/311509p.PDF?ver>

L0:=jGpnKtR0wAagzqTY8cwdmg%3d%3d).

L0:PGI 237.876 Certification of nonpersonal services.

L0:To comply with the certification requirement at DFARS 237.876, complete a

L0:certification substantially the same as the following and include a copy in the

L0:contract file:

L0:Certification of Nonpersonal Services

L0:This certification and enclosed worksheet are designed to ensure that the agency

L0:does not award a personal-services contract unless specifically authorized by statute

L0:(e.g., 10 U.S.C. 129b, 5 U.S.C. 3109, or 10 U.S.C. 1091). Therefore, this

L0:documentation should be completed in conjunction with the submission of a service-

L0:contract requirement to the contracting officer.

L0:A personal services contract is characterized by the employer-employee

L0:relationship it creates between the Government and the contractor's personnel. The

L0:Government is normally required to obtain its employees by direct hire under

L0:competitive appointment procedures required by civil service laws. Obtaining

L0:personal services by contract, rather than by direct hire, circumvents those laws

L0:unless Congress has specifically authorized acquisition of the services by contract.

L0:An employer-employee relationship under a service contract occurs when the

L0:Government exercises relatively continuous supervision and control over contractor

L0:personnel performing the contract.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L0:Upon considering the information above and the worksheet below, I certify that

L0:this requirement does not include an unauthorized personal services arrangement,

L0:either in the way the work statement is written or in the manner in which the resulting

L0:contract will be managed and overseen.

L0:_____

L0:Printed Name, Grade, Title, and Date

L0:Signature:_____

L0:Personal Services

L0:YES

L0:NO

L0:The following descriptive elements should be used as a

L0:guide to assess whether a proposed contract is

L0:personal in nature (see FAR 37.201-2). If the answer

L0:to any of the items below is ?YES,? then additional

L0:measures should be taken to ensure the contract is not

L0:administered so as to create an employer-employee

L0:relationship between the Government and the

L0:contractor?s personnel and result in an unauthorized

L0:personal services contract.

L0:1. Contractor personnel are performing on a Government

L0:2.

L0:3.

L0:site.

L0:Principal tools and equipment are furnished by the

L0:Government.

L0:Services are applied directly to the integral effort of the

L0:agency or an organizational subpart in furtherance of

L0:assigned function or mission.

L0:4. Comparable services meeting comparable needs are

L0:5.

L0:6.

L0:performed in this agency or similar agencies using civil-

L0:service personnel.

L0:The need for the service provided can reasonably be

L0:expected to last beyond one year.

L0:The inherent nature of the service, or the manner in which

L0:it is to be provided, reasonably requires (directly or

L0:indirectly) Government direction or supervision of

L0:contractor employees in order to:

L1:(a) adequately protect the Government?s interest;

L1:(b) retain control of the function involved; or

L1:(c) retain full personal responsibility for the function

L0:supported in a duly authorized Federal officer or

L0:employee.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L0:PGI 237.70?MORTUARY SERVICES

L0:PGI 237.7002 Area of performance and distribution of contracts.

L1:(1) Determine and define the geographical area to be covered by the contract using the

L0:following general guidelines:

L1:(i) Use political boundaries, streets, or other features as demarcation lines.

L1:(ii) The size should be roughly equivalent to the contiguous metropolitan or

L0:municipal area enlarged to include the activities served.

L1:(iii) If the area of performance best suited to the needs of a particular contract is not

L0:large enough to include a carrier terminal commonly used by people within the area, the

L0:contract area of performance must specifically state that it includes the terminal as a pickup

L0:or delivery point.

L1:(2) In addition to normal contract distribution, send three copies of each contract to each

L0:activity authorized to use the contract, and two copies to each of the following:

L1:(i) HQDA (TAPC-PEC-D), Alexandria, VA 22331.

L1:(ii) Commander, Naval Medical Command, Department of the Navy (MED 3141),

L0:23rd and E Streets NW, Washington, DC 20372.

L1:(iii) Headquarters, AFMPC-MPCCM.

L0:PGI 237.72?EDUCATIONAL SERVICE AGREEMENTS

L0:PGI 237.7204 Format and clauses for educational service agreements.

L0:Educational service agreements under this subpart must be in the following format. Add to

L0:the schedule any other provisions necessary to describe the requirements, if they are

L0:consistent with the following provisions and the policy of acquiring educational services in

L0:the form of standard course offerings at the prevailing rates of the institution:

L0:EDUCATIONAL SERVICE AGREEMENT

L0:Agreement No. _____

L0:1. This agreement entered into on the _____ day of _____, is

L0:between the Government, represented by the Contracting Officer, and the Contractor,

L0:_____ (name of institution) _____, an educational institution located in

L0:_____ (city) _____, _____ (state) _____.

L0:2. This agreement is for educational services to be provided by the Contractor to

L0:Government personnel at the Contractor's institution. The Contractor shall provide

L0:instruction with standard offerings of courses available to the public.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L0:3. The Government will pay for services under the Contractor's normal schedule of

L0:tuition and fees applicable to the public and in effect at the time the services are performed.

L0:4. The Government will review this agreement annually before the anniversary of its

L0:orders, the Federal Acquisition Regulation, or the Defense Federal Acquisition Regulation

L0:Supplement. Changes required to be made by modification to this agreement or by

L0:issuance of a superseding agreement. If mutual agreement on the changes cannot be

L0:reached, the Government will terminate this agreement.

L0:5. The parties may amend this agreement only by mutual consent.

L0:6. This agreement shall start on the date in paragraph 1 and shall continue until

L0:terminated.

L0:7. The estimated annual cost of this agreement is \$ _____. This estimate is for

L0:administrative purposes only and does not impose any obligation on the Government to

L0:request any services or make any payment.

L0:8. Advance payments are authorized by 10 U.S.C. 2396(a)(3).

L0:9. Submit invoices to: _____ (name and address of activity) _____.

L0:1. Ordering procedures and services to be provided.

L0:SCHEDULE PROVISIONS

L1:(a) The Contractor shall promptly deliver to the Contracting Officer one copy of each

L0:catalog applicable to this agreement, and one copy of any subsequent revision.

L1:(b) The Government will request educational services under this agreement by a

L0:(insert type of request, such as, delivery order, official Government order, or other written

L0:communication). The (insert type of request, such as, delivery order, official Government L0:order, or other written communication) will contain the number of this agreement and will L0:designate as students at the Contractor's institution one or more Government-selected L0:persons who have already been accepted for admission under the Contractor's usual L0:admission standards.

L1:(c) All students under this agreement shall register in the same manner, be subject L0:to the same academic regulations, and have the same privileges, including the use of all L0:facilities and equipment as any other students enrolled in the institution.

L1:(d) Upon enrolling each student under this agreement, the Contractor shall, where L0:the resident or nonresident status involves a difference in tuition or fees?

L1:(i) Determine the resident or nonresident status of the student;

L1:(ii) Notify the student and the Contracting Officer of the determination. If there is L0:an appeal of the determination;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L1:(iii) If there is an appeal of the determination, process the appeal under the L0:Contractor's standard procedures;

L1:(iv) Notify the student and Contracting Officer of the result; and

L1:(v) Make the determination a part of the student's permanent record.

L1:(e) The Contractor shall not furnish any instruction or other services to any student L0:under this agreement before the effective date of a request for services in the form specified L0:in paragraph (b) of this schedule.

L0:2. Change in curriculum. The Contracting Officer may vary the curriculum for any L0:student enrolled under this agreement but shall not require or make any change in any L0:course without the Contractor's consent.

L0:3. Payment.

L1:(a) The Government will pay the Contractor the normal tuition and fees which the L0:Contractor charges any students pursuing the same or similar curricula, except for any L0:tuition and fees which this agreement excludes. The Contractor may change any tuition and L0:fees, provided?

L1:(1) The Contractor publishes the revisions in a catalog or otherwise publicly L0:announces the revisions;

L1:(2) Applies the revisions uniformly to all students studying the same or similar L0:curricula; L0:date.

L1:(3) Provides the Contracting Officer notice of changes before their effective

L1:(b) The Contractor shall not establish any tuition or fees which apply solely to L0:students under this agreement.

L1:(c) If the Contractor regularly charges higher tuition and fees for nonresident L0:students, the Contractor may charge the Government the normal nonresident tuition and L0:fees for students under this agreement who are nonresidents. The Government shall not L0:claim resident tuition and fees for any student solely on the basis of the student residing in L0:the State as a consequence of enrollment under this agreement.

L1:(d) The Contractor shall charge the Government only the tuition and fees which L0:relate directly to enrollment as a student. Tuition and fees may include?

L1:(i) Penalty fees for late registration or change of course caused by the
L0:Government;

L1:(ii) Mandatory health fees and health insurance charges; and

L1:(iii) Any flat rate charge applicable to all students registered for research that
L0:appears in the Contractor's publicly announced fee schedule.

L1:(e) The Contractor shall not charge the Government for?
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37
L0:Defense FAR Supplement (DFARS) Part 237

L1:(i) Permit charges, such as vehicle registration or parking fees, unless
L0:specifically authorized in the request for service; and

L1:(ii) Any equipment, refundable deposits, or any items or services (such as
L0:computer time) related to student research.

L1:(f) Normally, the Contractor shall not directly charge individual students for
L0:application fees or any other fee chargeable to this agreement. However, if the Contractor's
L0:standard procedures require payment of any fee before the student is enrolled under this
L0:agreement, the Contractor may charge the student. When the Contractor receives payment
L0:from the Government, the Contractor shall fully reimburse the student.

L1:(g) For each term the Contractor enrolls students under this agreement, the
L0:Contractor shall submit _____ copies of an invoice listing charges for each student
L0:separately. The Contractor shall submit invoices within _____ days after the start of the
L0:term and shall include?

L1:(i) Agreement number and inclusive dates of the term;

L1:(ii) Name of each student;

L1:(iii) A list showing each course for each student if the school charges by credit
L0:hour;

L1:(iv) The resident or nonresident status of each student (if applicable to the
L0:Contractor's school); and

L1:(v) A breakdown of charges for each student, including credit hours, tuition,
L0:application fee, and other fees. Provide a total for each student and a grand total for all
L0:students listed on the invoice.

L1:(h) If unforeseen events require additional charges that are otherwise payable
L0:under the Contractor's normal tuition and fee schedule, the Contractor may submit a
L0:supplemental invoice or make the adjustment on the next regular invoice under this
L0:agreement. The Contractor shall clearly identify and explain the supplemental invoice or the
L0:adjustment.

L1:(i) The Contractor shall apply any credits resulting from withdrawal of students, or
L0:from any other cause under its standard procedures, to subsequent invoices submitted
L0:under this agreement. Credits should appear on the first invoice submitted after the action
L0:resulting in the credits. If no subsequent invoice is submitted, the Contractor shall deliver to
L0:the Contracting Officer a check drawn to the order of the office designated for contract
L0:administration. The Contractor shall identify the reason for the credit and the applicable
L0:term dates in all cases.

L0:4. Withdrawal of students.

L1:(a) The Government may, at its option and at any time, withdraw financial support
L0:for any student by issuing official orders. The Government will furnish _____ copies of the

L0:orders to the Contractor within a reasonable time after publication.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L1:(b) The Contractor may request withdrawal by the Government of any student for

L0:academic or disciplinary reasons.

L1:(c) If withdrawal occurs before the end of a term, the Government will pay any

L0:tuition and fees due for the current term. The Contractor shall credit the Government with

L0:any charges eligible for refund under the Contractor's standard procedures for any students

L0:in effect on the date of withdrawal.

L1:(d) Withdrawal of students by the Government will not be the basis for any special

L0:charge or claim by the Contractor other than charges under the Contractor's standard

L0:procedures.

L0:5. Transcripts. Within a reasonable time after withdrawal of a student for any reason, or

L0:after graduation, the Contractor shall send to the Contracting Officer (or to an address

L0:supplied by the Contracting Officer) one copy of an official transcript showing all work by the

L0:student at the institution until such withdrawal or graduation.

L0:6. Student teaching. The Government does not anticipate the Contractor awarding

L0:fellowships and assistantships to students attending school under this agreement. However,

L0:for graduate students, should both the student and the Contractor decide it to be in the

L0:student's best interests to assist in the institution's teaching program, the Contractor may

L0:provide nominal compensation for part-time service. Base the compensation on the

L0:Contractor's practices and procedures for other students of similar accomplishment in that

L0:department or field. The Contractor shall apply the compensation as a credit against any

L0:invoices presented for payment for any period in which the student performed the part-time

L0:teaching service.

L0:7. Termination of agreement.

L1:(a) Either party may terminate this agreement by giving 30 days advance written

L0:notice of the effective date of termination. In the event of termination, the Government shall

L0:have the right, at its option, to continue to receive educational services for those students

L0:already enrolled in the contractor's institution under this agreement until such time that the

L0:students complete their courses or curricula or the Government withdraws them from the

L0:Contractor's institution. The terms and conditions of this agreement in effect on the effective

L0:date of the termination shall continue to apply to such students remaining in the Contractor's

L0:institution.

L1:(b) Withdrawal of students under Schedule provision 4 shall not be considered a

L0:termination within the meaning of this provision 7.

L1:(c) Termination by either party shall not be the basis for any special charge or claim

L0:by the Contractor, other than as provided by the Contractor's standard procedures.

L0:Use the following clauses in educational service agreements:

L0:GENERAL PROVISIONS

L0:1. FAR 52.202-1, Definitions, and add the following paragraphs (h) through (m).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L1:(h) "Term" means the period of time into which the Contractor divides the academic

L0:year for purposes of instruction. This includes "semester," "trimester," "quarter," or any

L0:similar word the Contractor may use.

L1:(i) ?Course? means a series of lectures or instructions, and laboratory periods,

L0:relating to one specific representation of subject matter, such as Elementary College

L0:Algebra, German 401, or Surveying. Normally, a student completes a course in one term

L0:and receives a certain number of semester hours credit (or equivalent) upon successful

L0:completion.

L1:(j) ?Curriculum? means a series of courses having a unified purpose and belonging

L0:primarily to one major academic field. It will usually include certain required courses and

L0:elective courses within established criteria. Examples include Business Administration, Civil

L0:Engineering, Fine and Applied Arts, and Physics. A curriculum normally covers more than

L0:one term and leads to a degree or diploma upon successful completion.

L1:(k) ?Catalog? means any medium by which the Contractor publicly announces terms

L0:and conditions for enrollment in the Contractor's institution, including tuition and fees to be

L0:charged. This includes ?bulletin,? ?announcement,? or any other similar word the Contractor

L0:may use.

L1:(l) ?Tuition? means the amount of money charged by an educational institution for

L0:instruction, not including fees.

L1:(m) ?Fees? means those applicable charges directly related to enrollment in the

L0:Contractor's institution. Unless specifically allowed in the request for services, fees shall not

L0:include?

L1:(1) Any permit charge, such as parking and vehicle registration; or

L1:(2) Charges for services of a personal nature, such as food, housing, and

L0:laundry.

L0:2. FAR 52.203-3, Gratuities.

L0:3. FAR 52.203-5, Covenant Against Contingent Fees.

L0:4. FAR 52.204-1, Approval of Contract, if required by department/agency procedures.

L0:5. FAR 52.215-2, Audit and Records--Negotiation.

L0:6. FAR 52.215-8, Order of Precedence--Uniform Contract Format.

L0:7. Conflicts Between Agreement and Catalog. Insert the following clause:

L0:CONFLICTS BETWEEN AGREEMENT AND CATALOG

L0:If there is any inconsistency between this agreement and any catalog or

L0:other document incorporated in this agreement by reference or any of the

L0:Contractor's rules and regulations, the provisions of this agreement shall

L0:govern.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 37

L0:Defense FAR Supplement (DFARS) Part 237

L0:8. FAR 52.222-3, Convict Labor.

L0:9. Under FAR 22.802, FAR 22.807, and FAR 22.810, use the appropriate clause from

L0:FAR 52.222-26, Equal Opportunity.

L0:10. FAR 52.233-1, Disputes.

L0:11. Assignment of Claims. Insert the following clause:

L0:ASSIGNMENT OF CLAIMS

L0:No claim under this agreement shall be assigned.

L0:12. FAR 52.252-4, Alterations in Contract, if required by department/agency procedures.

L0:SIGNATURE PAGE

L0:Agreement No.

L0: _____

L0:Date

L0: _____

L0:THE UNITED STATES OF AMERICA

L0:BY: _____

L0:(Contracting Officer)

L0:Activity _____

L0:Location _____

L0:(NAME OF CONTRACTOR)

L0:BY: _____

L1:(Title) _____

L0:PGI 237.75?ACQUISITION AND MANAGEMENT OF INDUSTRIAL RESOURCES

L0:PGI 237.7502 Policy.

L0:Use DD Form 1391, FY__ Military Construction Project Data, to notify congressional

L0:committees of projects that are not included in the annual budget.

PART 39

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

239.170 Requirements for commercial products and commercial services

Status: active

L0:239.170 Requirements for commercial products and commercial services.

L1:(a) A contracting officer must not enter into a contract in excess of the simplified L0:acquisition threshold for information technology products or services that are not L0:commercial products or commercial services unless the head of the contracting L0:activity determines in writing that no commercial items are suitable to meet the L0:agency's needs, as determined through the use of market research appropriate to L0:the circumstances (see FAR 10.001(a)(3)) (section 855 of the National Defense L0:Authorization Act for Fiscal Year 2016 (Pub. L. 114-92)).

L1:(b) See part 208 when acquiring commercial software or software maintenance.

L1:(c) See part 227 for policy on the acquisition of commercial computer software L0:and commercial computer software documentation.

L1:(d) See part 227 for policy on the acquisition of other than commercial computer L0:software and other than commercial computer software documentation.

239.7001 Policy

Status: active

L0:239.7001 Policy.

L0:Agencies must follow the procedures in DoD Manual 4140.01, Volume 9, DoD L0:Supply Chain Materiel Management Procedures: Materiel Programs, when L0:considering the exchange or sale of Government-owned information technology.

239.7400 Scope

Status: active

L0:239.7400 Scope.

L0:This subpart prescribes policy and procedures for acquisition of telecommunications L0:services and maintenance of telecommunications security. Telecommunications L0:services meet the definition of information technology.

239.7401 Definitions

L0:239.7401 Definitions.

L0:As used in this subpart?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39

L0:Defense FAR Supplement (DFARS) Part 239

L0:Common carrier means any entity engaged in the business of providing

L0:telecommunications services which are regulated by the Federal Communications

L0:Commission or other governmental body.

L0:Foreign carrier means any person, partnership, association, joint-stock company,

L0:trust, governmental body, or corporation not subject to regulation by a U.S.

L0:governmental regulatory body and not doing business as a citizen of the United

L0:States, providing telecommunications services outside the territorial limits of the

L0:United States.

L0:Governmental regulatory body means the Federal Communications Commission,

L0:any statewide regulatory body, or any body with less than statewide jurisdiction

L0:when operating under the State authority. The following are not ?governmental

L0:regulatory bodies??

L1:(1) Regulatory bodies whose decisions are not subject to judicial appeal; and

L1:(2) Regulatory bodies which regulate a company owned by the same entity

L0:which creates the regulatory body.

L0:Long-haul telecommunications means all general and special purpose long-

L0:distance telecommunications facilities and services (including commercial satellite

L0:services, terminal equipment and local circuitry supporting the long-haul service) to

L0:or from the post, camp, base, or station switch and/or main distribution frame

L0:(except for trunk lines to the first-serving commercial central office for local

L0:communications services).

L0:Noncommon carrier means any entity other than a common carrier offering

L0:telecommunications facilities, services, or equipment for lease.

L0:Securing, sensitive information, and telecommunications systems have the

L0:meaning given in the clause at 252.239-7016, Telecommunications Security

L0:Equipment, Devices, Techniques, and Services.

L0:Telecommunications means the transmission, emission, or reception of signals,

L0:signs, writing, images, sounds, or intelligence of any nature, by wire, cable,

L0:satellite, fiber optics, laser, radio, or any other electronic, electric, electromagnetic,

L0:or acoustically coupled means.

L0:Telecommunications services means the services acquired, whether by lease or

L0:contract, to meet the Government's telecommunications needs. The term includes

L0:the telecommunications facilities and equipment necessary to provide such services.

239.7402 Policy

L0:239.7402 Policy.

L1:(a) Acquisition. DoD policy is to acquire telecommunications services from

L0:common and noncommon telecommunications carriers?

L1:(1) On a competitive basis, except when acquisition using other than full
L0:and open competition is justified;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39
L0:Defense FAR Supplement (DFARS) Part 239

L1:(2) Recognizing the regulations, practices, and decisions of the Federal
L0:Communications Commission (FCC) and other governmental regulatory bodies on
L0:rates, cost principles, and accounting practices; and

L1:(3) Making provision in telecommunications services contracts for adoption
L0:of?

L1:(i) FCC approved practices; or

L1:(ii) The generally accepted practices of the industry on those issues
L0:concerning common carrier services where?

L1:(A) The governmental regulatory body has not expressed itself;

L1:(B) The governmental regulatory body has declined jurisdiction; or

L1:(C) There is no governmental regulatory body to decide.

L1:(b) Security. (1) The contracting officer must ensure, in accordance with agency
L0:procedures, that purchase requests identify?

L1:(i) The nature and extent of information requiring security during
L0:telecommunications;

L1:(ii) The requirement for the contractor to secure telecommunications
L0:systems;

L1:(iii) The telecommunications security equipment, devices, techniques, or
L0:services with which the contractor's telecommunications security equipment,
L0:devices, techniques, or services must be interoperable; and

L1:(iv) The approved telecommunications security equipment, devices,
L0:techniques, or services, such as found in the National Security Agency's Information
L0:Systems Security Products and Services Catalogue.

L1:(2) Contractors and subcontractors must provide all telecommunications
L0:security techniques or services required for performance of Government contracts.

L1:(3) Except as provided in paragraph (b)(4) of this section, contractors and
L0:subcontractors must normally provide all required property, to include
L0:telecommunications security equipment or related devices, in accordance with FAR
L0:45.102. In some cases, such as for communications security (COMSEC) equipment
L0:designated as controlled cryptographic item (CCI), contractors or subcontractors
L0:must also meet ownership eligibility conditions.

L1:(4) The head of the agency may authorize provision of the necessary
L0:property as Government-furnished property or acquisition as contractor-acquired
L0:property, as long as conditions of FAR 45.102(b) are met.

L1:(c) Foreign carriers. For information on contracting with foreign carriers, see
L0:PGI 239.7402(c).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39
L0:Defense FAR Supplement (DFARS) Part 239
L0:239.7403-239.7404 [Reserved]

239.7405 Delegated authority for telecommunications resources

Status: active

L0:239.7405 Delegated authority for telecommunications resources.

L0:The contracting officer may enter into a telecommunications service contract on a
L0:month-to-month basis or for any longer period or series of periods, not to exceed a
L0:total of 10 years. See PGI 239.7405 for documents relating to this contracting
L0:authority, which the General Services Administration has delegated to DoD.

239.7406 Certified cost or pricing data and data other than certified cost

Status: active

L0:239.7406 Certified cost or pricing data and data other than certified cost

L0:or pricing data.

L1:(a) Common carriers are not required to submit certified cost or pricing data

L0:before award of contracts for tariffed services. Rates or preliminary estimates

L0:quoted by a common carrier for tariffed telecommunications services are considered

L0:to be prices set by regulation within the provisions of 10 U.S.C. 3703. This is true

L0:even if the tariff is set after execution of the contract.

L1:(b) Rates or preliminary estimates quoted by a common carrier for nontariffed

L0:telecommunications services or by a noncommon carrier for any telecommunications

L0:service are not considered prices set by law or regulation.

L1:(c) Contracting officers must obtain sufficient data to determine that the prices

L0:are reasonable in accordance with FAR 15.403-3 or 15.403-4. See PGI 239.7406 for

L0:examples of instances where additional data may be necessary to determine price

L0:reasonableness.

239.7407 Type of contract

Status: active

L0:239.7407 Type of contract.

L0:When acquiring telecommunications services, the contracting officer may use a

L0:basic agreement (see FAR 16.702) in conjunction with communication service

L0:authorizations. When using this method, follow the procedures at PGI 239.7407.

239.7408 Special construction

Status: active

L0:239.7408 Special construction.

239.7408-1 General

Status: active

L0:239.7408-1 General.

L1:(a) Special construction normally involves a common carrier giving a special
L0:service or facility related to the performance of the basic telecommunications service
L0:requirements. This may include?

L1:(1) Moving or relocating equipment;

L1:(2) Providing temporary facilities;

L1:(3) Expediting provision of facilities; or

L1:(4) Providing specially constructed channel facilities to meet Government
L0:requirements.

L1:(b) Use this subpart instead of FAR part 36 for acquisition of ?special
L0:construction.?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39

L0:Defense FAR Supplement (DFARS) Part 239

L1:(c) Special construction costs may be?

L1:(1) A contingent liability for using telecommunications services for a shorter
L0:time than the minimum to reimburse the contractor for unamortized
L0:nonrecoverable costs. These costs are usually expressed in terms of a termination
L0:liability, as provided in the contract or by tariff;

L1:(2) A onetime special construction charge;

L1:(3) Recurring charges for constructed facilities;

L1:(4) A minimum service charge;

L1:(5) An expediting charge; or

L1:(6) A move or relocation charge.

L1:(d) When a common carrier submits a proposal or quotation which has special
L0:construction requirements, the contracting officer must require a detailed special
L0:construction proposal. Analyze all special construction proposals to?

L1:(1) Determine the adequacy of the proposed construction;

L1:(2) Disclose excessive or duplicative construction; and

L1:(3) When different forms of charge are possible, provide for the form of
L0:charge most advantageous to the Government.

L1:(e) When possible, analyze and approve special construction charges before
L0:receiving the service. Impose a ceiling on the special construction costs before
L0:authorizing the contractor to proceed, if prior approval is not possible. The
L0:contracting officer must approve special construction charges before final payment.

239.7408-2 Applicability of construction labor standards for special

Status: active

L0:239.7408-2 Applicability of construction labor standards for special
L0:construction.

L1:(a) The construction labor standards in FAR Subpart 22.4 ordinarily do not
L0:apply to special construction. However, if the special construction includes
L0:construction, alteration, or repair (as defined in FAR 22.401) of a public building or
L0:public work, the construction labor standards may apply. Determine applicability

L0:under FAR 22.402.

L1:(b) Each CSA or other type contract which is subject to construction labor

L0:standards under FAR 22.402 must cite that fact.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39

L0:Defense FAR Supplement (DFARS) Part 239

239.7409 Special assembly

Status: active

L0:239.7409 Special assembly.

L1:(a) Special assembly is the designing, manufacturing, arranging, assembling, or

L0:wiring of equipment to provide telecommunications services that cannot be provided

L0:with general use equipment.

L1:(b) Special assembly rates and charges must be based on estimated costs. The

L0:contracting officer should negotiate special assembly rates and charges before

L0:starting service. When it is not possible to negotiate in advance, use provisional

L0:rates and charges subject to adjustment, until final rates and charges are

L0:negotiated. The CSAs authorizing the special assembly must be modified to reflect

L0:negotiated final rates and charges.

239.7410 Cancellation and termination

Status: active

L0:239.7410 Cancellation and termination.

L2:(a)(1) Cancellation is stopping a requirement after placing of an order but before

L0:service starts.

L1:(2) Termination is stopping a requirement after placing an order and after

L0:service starts.

L1:(b) Determine cancellation or termination charges under the provisions of the

L0:applicable tariff or agreement/contract.

239.7411 Contract clauses

Status: active

L0:239.7411 Contract clauses.

L1:(a) In addition to other appropriate FAR and DFARS clauses, insert the

L0:following clauses in solicitations, contracts, and basic agreements for

L0:telecommunications services. Modify the clauses only if necessary to meet the

L0:requirements of a governmental regulatory agency.

L1:(1) 252.239-7002, Access.

L1:(2) 252.239-7004, Orders for Facilities and Services.

L1:(3) 252.239-7007, Cancellation or Termination of Orders.

L1:(b) Insert the following clauses in solicitations, contracts, and basic agreements

L0:for telecommunications services when the acquisition includes or may include
L0:special construction. Modify the clauses only if necessary to meet the requirements
L0:of a governmental regulatory agency?
L1:(1) 252.239-7011, Special Construction and Equipment Charges; and
L1:(2) 252.239-7012, Title to Telecommunication Facilities and Equipment.
L1:(c) Insert the basic or alternate of the clause at 252.239-7013, Term of
L0:Agreement and Continuation of Services, in basic agreements for
L0:telecommunications services.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39
L0:Defense FAR Supplement (DFARS) Part 239
L1:(1) Insert the basic clause in basic agreements that do not supersede an
L0:existing basic agreement with the contractor.
L1:(2) Insert the alternate I clause in basic agreements that supersede an
L0:existing basic agreement with the contractor. Complete paragraph (c)(1) of the
L0:clause with the basic agreement number, date, and contacting office that issued the
L0:basic agreement being superseded.
L1:(d) Insert the clause at 252.239-7016, Telecommunications Security Equipment,
L0:Devices, Techniques, and Services, in solicitations and contracts when performance
L0:of a contract requires secure telecommunications.

239.7600 Scope of subpart

Status: active

L0:239.7600 Scope of subpart.
L0:This subpart prescribes policies and procedures for the acquisition of cloud
L0:computing services.

239.7601 Definitions

Status: active

L0:239.7601 Definitions.
L0:As used in this subpart?
L0:Authorizing official, as described in DoD Instruction 8510.01, Risk Management
L0:Framework (RMF) for DoD Information Technology (IT), means the senior Federal
L0:official or executive with the authority to formally assume responsibility for
L0:operating an information system at an acceptable level of risk to organizational
L0:operations (including mission, functions, image, or reputation), organizational
L0:assets, individuals, other organizations, and the Nation.
L0:Cloud computing means a model for enabling ubiquitous, convenient, on-demand
L0:network access to a shared pool of configurable computing resources (e.g., networks,
L0:servers, storage, applications, and services) that can be rapidly provisioned and
L0:released with minimal management effort or service provider interaction. This
L0:includes other commercial terms, such as on-demand self-service, broad network
L0:access, resource pooling, rapid elasticity, and measured service. It also includes

L0:commercial offerings for software-as-a-service, infrastructure-as-a-service, and
L0:platform-as-a-service.

L0:Government data means any information, document, media, or machine readable
L0:material regardless of physical form or characteristics, that is created or obtained
L0:by the Government in the course of official Government business.

L0:Government-related data means any information, document, media, or machine
L0:readable material regardless of physical form or characteristics that is created or
L0:obtained by a contractor through the storage, processing, or communication of
L0:Government data. This does not include a contractor's business records (e.g.,
L0:financial records, legal records, etc.) or data such as operating procedures, software
L0:coding, or algorithms that are not uniquely applied to the Government data.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39
L0:Defense FAR Supplement (DFARS) Part 239

L0:Information system means a discrete set of information resources organized for
L0:the collection, processing, maintenance, use, sharing, dissemination, or disposition
L0:of information.

L0:Media means physical devices or writing surfaces including, but not limited to,
L0:magnetic tapes, optical disks, magnetic disks, large-scale integration memory chips,
L0:and printouts onto which information is recorded, stored, or printed within an
L0:information system.

239.7602 Policy and responsibilities

Status: active

L0:239.7602 Policy and responsibilities.

239.7602-1 General

Status: active

L0:239.7602-1 General.

L1:(a) Generally, DoD must acquire cloud computing services using commercial
L0:terms and conditions that are consistent with Federal law, and an agency's needs,
L0:including those requirements specified in this subpart. Some examples of
L0:commercial terms and conditions are license agreements, End User License
L0:Agreements (EULAs), Terms of Service (TOS), or other similar legal instruments or
L0:agreements. Contracting officers must incorporate any applicable service provider
L0:terms and conditions into the contract by attachment or other appropriate
L0:mechanism. Contracting officers must carefully review commercial terms and
L0:conditions and consult counsel to ensure these are consistent with Federal law,
L0:regulation, and the agency's needs.

L2:(b)(1) Except as provided in paragraph (b)(2) of this section, the contracting
L0:officer must only award a contract to acquire cloud computing services from a cloud
L0:service provider (e.g., contractor or subcontractor, regardless of tier) that has been
L0:granted provisional authorization by Defense Information Systems Agency, at the

L0:level appropriate to the requirement, to provide the relevant cloud computing
L0:services in accordance with the Cloud Computing Security Requirements Guide
L1:(SRG) (version in effect at the time the solicitation is issued or as authorized by the
L0:contracting officer) found at <https://public.cyber.mil/dccs/>.
L1:(2) The contracting officer may award a contract to acquire cloud computing
L0:services from a cloud service provider that has not been granted provisional
L0:authorization when?
L1:(i) The requirement for a provisional authorization is waived by the DoD
L0:Chief Information Officer; or
L1:(ii) The cloud computing service requirement is for a private, on-
L0:premises version that will be provided from U.S. Government facilities. Under this
L0:circumstance, the cloud service provider must obtain a provisional authorization
L0:prior to operational use.
L1:(c) When contracting for cloud computing services, the contracting officer must
L0:ensure the following information is provided by the requiring activity:
L1:(1) Government data and Government-related data descriptions.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39
L0:Defense FAR Supplement (DFARS) Part 239
L1:(2) Data ownership, licensing, delivery and disposition instructions specific
L0:to the relevant types of Government data and Government-related data (e.g., DD
L0:Form 1423, Contract Data Requirements List; work statement task; line item).
L0:Disposition instructions must provide for the transition of data in commercially
L0:available, or open and non-proprietary format (and for permanent records, in
L0:accordance with disposition guidance issued by National Archives and Record
L0:Administration).
L1:(3) Appropriate requirements to support applicable inspection, audit,
L0:investigation, or other similar authorized activities specific to the relevant types of
L0:Government data and Government-related data, or specific to the type of cloud
L0:computing services being acquired.
L1:(4) Appropriate requirements to support and cooperate with applicable
L0:system-wide search and access capabilities for inspections, audits, investigations,
L0:and similar authorized activities.

239.7602-2 Required storage of data within the United States or outlying

Status: active

L0:239.7602-2 Required storage of data within the United States or outlying
L0:areas.
L1:(a) Cloud computing service providers are required to maintain within the 50
L0:states, the District of Columbia, or outlying areas of the United States, all
L0:Government data that is not physically located on DoD premises, unless otherwise
L0:authorized by the authorizing official, as described in DoD Instruction 8510.01, in
L0:accordance with the SRG.
L1:(b) The contracting officer must provide written notification to the contractor

L0:when the contractor is permitted to maintain Government data at a location outside
L0:the 50 States, the District of Columbia, and outlying areas of the United States. See
L0:PGI 239.7602-2 for additional guidance.

239.7603 Procedures

Status: active

L0:239.7603 Procedures.
L0:Follow the procedures relating to cloud computing at PGI 239.7603.

239.7604 Solicitation provision and contract clause

Status: active

L0:239.7604 Solicitation provision and contract clause.
L1:(a) Insert the provision at 252.239-7009, Representation of Use of Cloud
L0:Computing, in solicitations, including solicitations using FAR part 12 procedures for
L0:the acquisition of commercial products and commercial services, for information
L0:technology services.
L1:(b) Insert the clause at 252.239-7010, Cloud Computing Services, in solicitations
L0:and contracts, including solicitations and contracts using FAR part 12 procedures
L0:for the acquisition of commercial products and commercial services, for information
L0:technology services.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39
L0:Defense FAR Supplement (DFARS) Part 239

252.239-7002 Access

Status: active

L0:252.239-7002 Access.
L0:As prescribed in 239.7411(a), use the following clause:
L0:ACCESS (DEC 1991)
L1:(a) Subject to military security regulations, the Government shall permit the
L0:Contractor access at all reasonable times to Contractor furnished facilities.
L0:However, if the Government is unable to permit access, the Government at its own
L0:risk and expense shall maintain these facilities and the Contractor shall not be
L0:responsible for the service involving any of these facilities during the period of
L0:nonaccess, unless the service failure results from the Contractor's fault or
L0:negligence.
L1:(b) During periods when the Government does not permit Contractor access, the
L0:Government will reimburse the Contractor at mutually acceptable rates for the loss
L0:of or damage to the equipment due to the fault or negligence of the Government.
L0:Failure to agree shall be a dispute concerning a question of fact within the meaning
L0:of the Disputes clause of this contract.

252.239-7004 Orders for Facilities and Services

Status: active

L0:252.239-7004 Orders for Facilities and Services.

L0:As prescribed in 239.7411(a), use the following clause:

L0:(End of clause)

L0:ORDERS FOR FACILITIES AND SERVICES (SEP 2019)

L1:(a) Definitions. As used in this clause?

L0:Governmental regulatory body means the Federal Communications Commission,

L0:any statewide regulatory body, or any body with less than statewide jurisdiction

L0:when operating under the state authority. Regulatory bodies whose decisions are

L0:not subject to judicial appeal and regulatory bodies which regulate a company

L0:owned by the same entity that creates the regulatory body are not governmental

L0:regulatory bodies.

L1:(b) The Contractor shall acknowledge a communication service authorization or

L0:other type order for supplies and facilities by?

L1:(1) Commencing performance after receipt of an order; or

L1:(2) Written acceptance by a duly authorized representative.

L1:(c) The Contractor shall furnish the services and facilities under this

L0:agreement/contract in accordance with all applicable tariffs, rates, charges,

L0:regulations, requirements, terms, and conditions of?

L1:(1) Service and facilities furnished or offered by the Contractor to the

L0:general public or the Contractor's subscribers; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39

L0:Defense FAR Supplement (DFARS) Part 239

L1:(2) Service as lawfully established by a governmental regulatory body.

L1:(d) The Government will not prepay for services.

L1:(e) For nontariffed services, the Contractor shall charge the Government at the

L0:lowest rate and under the most favorable terms and conditions for similar service

L0:and facilities offered to any other customer.

L1:(f) Recurring charges for services and facilities shall, in each case, start with the

L0:satisfactory beginning of service or provision of facilities or equipment and are

L0:payable monthly in arrears.

L1:(g) Expediting charges are costs necessary to get services earlier than normal.

L0:Examples are overtime pay or special shipment. When authorized, expediting

L0:charges shall be the additional costs incurred by the Contractor and the

L0:subcontractor. The Government shall pay expediting charges only when?

L1:(1) They are provided for in the tariff established by a governmental

L0:regulatory body; or

L1:(2) They are authorized in a communication service authorization or other

L0:contractual document.

L1:(h) When services normally provided are technically unacceptable and the

L0:development, fabrication, or manufacture of special equipment is required, the

L0:Government may?

L1:(1) Provide the equipment; or

L1:(2) Direct the Contractor to acquire the equipment or facilities. If the
L0:Contractor acquires the equipment or facilities, the acquisition shall be competitive,
L0:if practicable.

L1:(i) If at any time the Government defers or changes its orders for any of the
L0:services but does not cancel or terminate them, the amount paid or payable to the
L0:Contractor for the services deferred or modified shall be equitably adjusted under
L0:applicable tariffs filed by the Contractor with the regulatory commission in effect at
L0:the time of deferral or change. If no tariffs are in effect, the Government and the
L0:Contractor shall equitably adjust the rates by mutual agreement. Failure to agree
L0:on any adjustment shall be a dispute concerning a question of fact within the
L0:meaning of the Disputes clause of this contract.

252.239-7007 Cancellation or Termination of Orders

Status: active

L0:252.239-7007 Cancellation or Termination of Orders.

L0:As prescribed in 239.7411(a), use the following clause:

L0:(End of clause)

L0:CANCELLATION OR TERMINATION OF ORDERS (SEP 2019)

L1:(a) Definitions. As used in this clause?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39

L0:Defense FAR Supplement (DFARS) Part 239

L0:Actual nonrecoverable costs means the installed costs of the facilities and
L0:equipment, less cost of reusable materials, and less net salvage value.

L0:Basic cancellation liability means the actual nonrecoverable cost, which the
L0:Government shall reimburse the Contractor at the time services are cancelled.

L0:Basic termination liability means the nonrecoverable cost amortized in equal
L0:monthly increments throughout the liability period.

L0:Installed costs means the actual cost of equipment and materials specifically
L0:provided or used, plus the actual cost of installing (including engineering, labor,
L0:supervision, transportation, rights-of-way, and any other items which are
L0:chargeable to the capital accounts of the Contractor), less any costs the government
L0:may have directly reimbursed the Contractor under the Special Construction and
L0:Equipment Charges clause of this agreement/contract.

L0:Net salvage value means the salvage value less the cost of removal.

L1:(b) If the Government cancels any of the services ordered under this
L0:agreement/contract, before the services are made available to the Government, or
L0:terminates any of these services after they are made available to the Government,
L0:the Government will reimburse the Contractor for the actual nonrecoverable costs
L0:the Contractor has reasonably incurred in providing facilities and equipment for
L0:which the Contractor has no foreseeable reuse. The Government will not reimburse
L0:the Contractor for any actual nonrecoverable costs incurred after notice of award,
L0:but prior to execution of the order.

L1:(c) When feasible, the Contractor shall reuse cancelled or terminated facilities or

L0:equipment to minimize the charges to the Government.

L1:(d) If at any time the Government requires that telecommunications facilities or

L0:equipment be relocated within the Contractor's service area, the Government will

L0:have the option of paying the costs of relocating the facilities or equipment in lieu of

L0:paying any termination or cancellation charge under this clause. The basic

L0:cancellation liability or basic termination liability applicable to the facilities or

L0:equipment in their former location shall continue to apply to the facilities and

L0:equipment in their new location. Monthly recurring charges shall continue to be

L0:paid during the period.

L1:(e) When there is another requirement or foreseeable reuse in place of cancelled

L0:or terminated facilities or equipment, no charge shall apply and the basic

L0:cancellation liability or basic termination liability shall be appropriately reduced.

L0:When feasible, the Contractor shall promptly reuse discontinued channels or

L0:facilities, including equipment for which the Government is obligated to pay a

L0:minimum service charge.

L1:(f) The amount of the Government's liability upon cancellation or termination of

L0:any of the services ordered under this agreement/contract will be determined under

L0:applicable tariffs governing cancellation and termination charges which?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39

L0:Defense FAR Supplement (DFARS) Part 239

L1:(1) Are filed by the Contractor with a governmental regulatory body, as

L0:defined in the Orders For Facilities and Services clause of this agreement/contract;

L1:(2) Are in effect on the date of termination; and

L1:(3) Provide specific cancellation or termination charges for the facilities and

L0:equipment involved or show how to determine the charges.

L1:(g) The amount of the Government's liability upon cancellation or termination of

L0:any of the services ordered under this agreement/contract, which are not subject to

L0:a governmental regulatory body, will be determined under a mutually agreed

L0:schedule in the communication services authorization (CSA) or other contractual

L0:document.

L1:(h) If no applicable tariffs are in effect on the date of cancellation or termination

L0:or set forth in the applicable CSA or other contractual document, the Government's

L0:liability will be determined under the following settlement procedures?

L1:(1) The Contractor agrees to provide the Contracting Officer, in such

L0:reasonable detail as the Contracting Officer may require, inventory schedules

L0:covering all items of property or facilities in the Contractor's possession, the cost of

L0:which is included in the Basic Cancellation or Termination Liability for which the

L0:Contractor has no foreseeable reuse.

L1:(2) The Contractor shall use its best efforts to sell property or facilities when

L0:the Contractor has no foreseeable reuse or when the Government has not exercised

L0:its option to take title under the Title to Telecommunications Facilities and

L0:Equipment clause of this agreement/contract. The Contractor shall apply any

L0:proceeds of the sale to reduce any payments by the Government to the Contractor

L0:under a cancellation or termination settlement.

L1:(3) The Contractor shall record actual nonrecoverable costs under established

L0:accounting procedures prescribed by the cognizant governmental regulatory
L0:authority or, if no such procedures have been prescribed, under generally accepted
L0:accounting procedures applicable to the provision of telecommunication services for
L0:public use.

L1:(4) The net salvage value shall be deducted from the Contractor's installed cost.

L0:In determining net salvage value, the Contractor shall consider the foreseeable
L0:reuse of the facilities and equipment by the Contractor. The Contractor shall make
L0:allowance for the cost of dismantling, removal, reconditioning, and disposal of the
L0:facilities and equipment when necessary either for the sale of facilities or their
L0:reuse by the Contractor in another location.

L1:(5) Upon termination of services, the Government will reimburse the Contractor

L0:for the nonrecoverable cost less such costs amortized to the date services are
L0:terminated and establish the liability period as mutually agreed to but not to exceed
L0:ten years. In the case of either a cancellation or a termination, the Government's
L0:presumed maximum liability will be capped by the unpaid non-recurring charges
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39
L0:Defense FAR Supplement (DFARS) Part 239

L0:and the monthly recurring charges set out in the contract/agreement. The
L0:presumed maximum liability for monthly recurring charges shall be capped at
L0:monthly recurring charges for the minimum service period and any required notice
L0:period.

L1:(6) When the basic cancellation liability or basic termination liability

L0:established by the CSA or other contractual document is based on estimated costs,
L0:the Contractor agrees to settle on the basis of actual cost at the time of cancellation
L0:or termination.

L1:(7) The Contractor agrees that, if after settlement but within the termination

L0:liability period of the services, should the Contractor make reuse of equipment or
L0:facilities which were treated as nonreusable or nonsalvageable in the settlement, the
L0:Contractor shall reimburse the Government for the value of the equipment or
L0:facilities.

L1:(8) The Contractor agrees to exclude?

L1:(i) Any costs which are not included in determining cancellation and

L0:termination charges under the Contractor's standard practices or procedures; and

L1:(ii) Charges not ordinarily made by the Contractor for similar facilities or

L0:equipment, furnished under similar circumstances.

L1:(i) The Government may, under such terms and conditions as it may

L0:prescribe, make partial payments and payments on account against costs incurred
L0:by the Contractor in connection with the cancelled or terminated portion of this
L0:agreement/contract. The Government may make these payments if the Contracting
L0:Officer determines that the total of the payments is within the amount the
L0:Contractor is entitled. If the total of the payments is in excess of the amount finally
L0:agreed or determined to be due under this clause, the Contractor shall pay the
L0:excess to the Government upon demand.

L1:(j) Failure to agree shall be a dispute concerning a question of fact within the

L0:meaning of the Disputes clause.

L0:(End of clause)

252.239-7009 Representation of use of cloud computing

Status: active

L0:252.239-7009 Representation of use of cloud computing.

L0:As prescribed in 239.7604(a), use the following provision:

L0:REPRESENTATION OF USE OF CLOUD COMPUTING (SEP 2015)

L1:(a) Definition. Cloud computing, as used in this provision, means a model for

L0:enabling ubiquitous, convenient, on-demand network access to a shared pool of

L0:configurable computing resources (e.g., networks, servers, storage, applications, and

L0:services) that can be rapidly provisioned and released with minimal management

L0:effort or service provider interaction. This includes other commercial terms, such as

L0:on-demand self-service, broad network access, resource pooling, rapid elasticity, and

L0:measured service. It also includes commercial offerings for software-as-a-service,

L0:infrastructure-as-a-service, and platform-as-a-service.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39

L0:Defense FAR Supplement (DFARS) Part 239

L1:(b) The Offeror shall indicate by checking the appropriate blank in paragraph

L1:(c) of this provision whether the use of cloud computing is anticipated under the

L0:resultant contract.

L1:(c) Representation. The Offeror represents that it?

L0:___Does anticipate that cloud computing services will be used in the

L0:performance of any contract or subcontract resulting from this solicitation.

L0:___Does not anticipate that cloud computing services will be used in the

L0:performance of any contract or subcontract resulting from this solicitation.

252.239-7010 Cloud Computing Services

Status: active

L0:252.239-7010 Cloud Computing Services.

L0:As prescribed in 239.7604(b), use the following clause:

L0:(End of provision)

L0:CLOUD COMPUTING SERVICES (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Authorizing official, as described in DoD Instruction 8510.01, Risk Management

L0:Framework (RMF) for DoD Information Technology (IT), means the senior Federal

L0:official or executive with the authority to formally assume responsibility for

L0:operating an information system at an acceptable level of risk to organizational

L0:operations (including mission, functions, image, or reputation), organizational

L0:assets, individuals, other organizations, and the Nation.

L0:Cloud computing means a model for enabling ubiquitous, convenient, on-demand

L0:network access to a shared pool of configurable computing resources (e.g., networks,

L0:servers, storage, applications, and services) that can be rapidly provisioned and released with minimal management effort or service provider interaction. This includes other commercial terms, such as on-demand self-service, broad network access, resource pooling, rapid elasticity, and measured service. It also includes commercial offerings for software-as-a-service, infrastructure-as-a-service, and platform-as-a-service.

L0:Compromise means disclosure of information to unauthorized persons, or a violation of the security policy of a system, in which unauthorized intentional or unintentional disclosure, modification, destruction, or loss of an object, or the copying of information to unauthorized media may have occurred.

L0:Cyber incident means actions taken through the use of computer networks that result in a compromise or an actual or potentially adverse effect on an information system and/or the information residing therein.

L0:Government data means any information, document, media, or machine readable material regardless of physical form or characteristics, that is created or obtained by the Government in the course of official Government business.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39

L0:Defense FAR Supplement (DFARS) Part 239

L0:Government-related data means any information, document, media, or machine readable material regardless of physical form or characteristics that is created or obtained by a contractor through the storage, processing, or communication of Government data. This does not include contractor's business records e.g. financial records, legal records etc. or data such as operating procedures, software coding or algorithms that are not uniquely applied to the Government data.

L0:Information system means a discrete set of information resources organized for the collection, processing, maintenance, use, sharing, dissemination, or disposition of information.

L0:Media means physical devices or writing surfaces including, but not limited to, magnetic tapes, optical disks, magnetic disks, large-scale integration memory chips, and printouts onto which information is recorded, stored, or printed within an information system.

L0:Spillage security incident that results in the transfer of classified or controlled unclassified information onto an information system not accredited (i.e., authorized) for the appropriate security level.

L1:(b) Cloud computing security requirements. The requirements of this clause are applicable when using cloud computing to provide information technology services in the performance of the contract.

L1:(1) If the Contractor indicated in its offer that it does not anticipate the use of cloud computing services in the performance of a resultant contract, in response to provision 252.239-7009, Representation of Use of Cloud Computing, and after the award of this contract, the Contractor proposes to use cloud computing services in the performance of the contract, the Contractor shall obtain approval from the Contracting Officer prior to utilizing cloud computing services in performance of the contract.

L1:(2) The Contractor shall implement and maintain administrative, technical,

L0:and physical safeguards and controls with the security level and services required
L0:in accordance with the Cloud Computing Security Requirements Guide (SRG)
L0:(version in effect at the time the solicitation is issued or as authorized by the
L0:Contracting Officer) found at <https://public.cyber.mil/dccs/dccs-documents/>
L0:unless notified by the Contracting Officer that this requirement has been waived by
L0:the DoD Chief Information Officer.

L1:(3) The Contractor shall maintain within the United States or outlying
L0:areas all Government data that is not physically located on DoD premises, unless
L0:the Contractor receives written notification from the Contracting Officer to use
L0:another location, in accordance with DFARS 239.7602-2(a).

L1:(c) Limitations on access to, and use and disclosure of Government data and
L0:Government-related data.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39
L0:Defense FAR Supplement (DFARS) Part 239

L1:(1) The Contractor shall not access, use, or disclose Government data unless
L0:specifically authorized by the terms of this contract or a task order or delivery order
L0:issued hereunder.

L1:(i) If authorized by the terms of this contract or a task order or delivery
L0:order issued hereunder, any access to, or use or disclosure of, Government data
L0:shall only be for purposes specified in this contract or task order or delivery order.

L1:(ii) The Contractor shall ensure that its employees are subject to all such
L0:access, use, and disclosure prohibitions and obligations.

L1:(iii) These access, use, and disclosure prohibitions and obligations shall
L0:survive the expiration or termination of this contract.

L1:(2) The Contractor shall use Government-related data only to manage the
L0:operational environment that supports the Government data and for no other
L0:purpose unless otherwise permitted with the prior written approval of the
L0:Contracting Officer.

L1:(d) Cloud computing services cyber incident reporting. The Contractor shall
L0:report all cyber incidents that are related to the cloud computing service provided
L0:under this contract. Reports shall be submitted to DoD via <http://dibnet.dod.mil/>.

L1:(e) Malicious software. The Contractor or subcontractors that discover and
L0:isolate malicious software in connection with a reported cyber incident shall submit
L0:the malicious software in accordance with instructions provided by the Contracting
L0:Officer.

L1:(f) Media preservation and protection. When a Contractor discovers a cyber
L0:incident has occurred, the Contractor shall preserve and protect images of all
L0:known affected information systems identified in the cyber incident report (see
L0:paragraph (d) of this clause) and all relevant monitoring/packet capture data for at
L0:least 90 days from the submission of the cyber incident report to allow DoD to
L0:request the media or decline interest.

L1:(g) Access to additional information or equipment necessary for forensic analysis.
L0:Upon request by DoD, the Contractor shall provide DoD with access to additional
L0:information or equipment that is necessary to conduct a forensic analysis.

L1:(h) Cyber incident damage assessment activities. If DoD elects to conduct a

L0:damage assessment, the Contracting Officer will request that the Contractor
L0:provide all of the damage assessment information gathered in accordance with
L0:paragraph (f) of this clause.

L1:(i) Records management and facility access.

L1:(1) The Contractor shall provide the Contracting Officer all Government
L0:data and Government-related data in the format specified in the contract.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39

L0:Defense FAR Supplement (DFARS) Part 239

L1:(2) The Contractor shall dispose of Government data and Government-
L0:related data in accordance with the terms of the contract and provide the
L0:confirmation of disposition to the Contracting Officer in accordance with contract
L0:closeout procedures.

L1:(3) The Contractor shall provide the Government, or its authorized
L0:representatives, access to all Government data and Government-related data,
L0:access to contractor personnel involved in performance of the contract, and physical
L0:access to any Contractor facility with Government data, for the purpose of audits,
L0:investigations, inspections, or other similar activities, as authorized by law or
L0:regulation.

L1:(j) Notification of third party access requests. The Contractor shall notify the
L0:Contracting Officer promptly of any requests from a third party for access to
L0:Government data or Government-related data, including any warrants, seizures, or
L0:subpoenas it receives, including those from another Federal, State, or local agency.
L0:The Contractor shall cooperate with the Contracting Officer to take all measures to
L0:protect Government data and Government-related data from any unauthorized
L0:disclosure.

L1:(k) Spillage. Upon notification by the Government of a spillage, or upon the
L0:Contractor's discovery of a spillage, the Contractor shall cooperate with the
L0:Contracting Officer to address the spillage in compliance with agency procedures.

L1:(l) Subcontracts. The Contractor shall include this clause, including this
L0:paragraph (l), in all subcontracts that involve or may involve cloud services,
L0:including subcontracts for commercial services.

252.239-7011 Special construction and equipment charges

Status: active

L0:252.239-7011 Special construction and equipment charges.

L0:As prescribed in 239.7411(b), use the following clause:

L0:(End of clause)

L0:SPECIAL CONSTRUCTION AND EQUIPMENT CHARGES (DEC 1991)

L1:(a) The Government will not directly reimburse the Contractor for the cost of
L0:constructing any facilities or providing any equipment, unless the Contracting
L0:Officer authorizes direct reimbursement.

L1:(b) If the Contractor stops using facilities or equipment which the Government
L0:has, in whole or part, directly reimbursed, the Contractor shall allow the

L0:Government credit for the value of the facilities or equipment attributable to the
L0:Government's contribution. Determine the value of the facilities and equipment on
L0:the basis of their foreseeable reuse by the Contractor at the time their use is
L0:discontinued or on the basis of the net salvage value, whichever is greater. The
L0:Contractor shall promptly pay the Government the amount of any credit.
L1:(c) The amount of the direct special construction charge shall not exceed?
L1:(1) The actual costs to the Contractor; and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39
L0:Defense FAR Supplement (DFARS) Part 239
L1:(2) An amount properly allocable to the services to be provided to the
L0:Government.
L1:(d) The amount of the direct special construction charge shall not include costs
L0:incurred by the Contractor which are covered by?
L1:(1) A cancellation or termination liability; or
L1:(2) The Contractor's recurring or other nonrecurring charges.
L1:(e) The Contractor represents that?
L1:(1) Recurring charges for the services, facilities, and equipment do not
L0:include in the rate base any costs that have been reimbursed by the Government to
L0:the Contractor; and
L1:(2) Depreciation charges are based only on the cost of facilities and
L0:equipment paid by the Contractor and not reimbursed by the Government.
L1:(f) If it becomes necessary for the Contractor to incur costs to replace any
L0:facilities or equipment, the Government shall assume those costs or reimburse the
L0:Contractor for replacement costs at mutually acceptable rates under the following
L0:circumstances?
L1:(1) The Government paid direct special construction charges; or
L1:(2) The Government reimbursed the Contractor for those facilities or
L0:equipment as a part of the recurring charges; and
L1:(3) The need for replacement was due to circumstances beyond the control
L0:and without the fault of the Contractor.
L1:(g) Before incurring any costs under paragraph (f) of this clause, the
L0:Government shall have the right to terminate the service under the Cancellation or
L0:Termination of Orders clause of this contract.
L0:(End of clause)

252.239-7012 Title to telecommunication facilities and equipment

Status: active

L0:252.239-7012 Title to telecommunication facilities and equipment.
L0:As prescribed in 239.7411(b), use the following clause:
L0:TITLE TO TELECOMMUNICATION FACILITIES AND EQUIPMENT (DEC 1991)
L1:(a) Title to all Contractor furnished facilities and equipment used under this
L0:agreement/contract shall remain with the Contractor even if the Government paid
L0:the costs of constructing the facilities or equipment. A mutually accepted

L0:communications service authorization may provide for exceptions.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39
L0:Defense FAR Supplement (DFARS) Part 239
L1:(b) The Contractor shall operate and maintain all telecommunication facilities
L0:and equipment used under this agreement/contract whether the Government or the
L0:Contractor has title.
L0:(End of clause)

252.239-7013 Term of Agreement and Continuation of Services

Status: active

L0:252.239-7013 Term of Agreement and Continuation of Services.
L0:Basic. As prescribed in 239.7411(c)(1), use the following clause:
**L0:TERM OF AGREEMENT AND CONTINUATION OF SERVICES?BASIC (OCT
L0:2019)**
L1:(a) This basic agreement is not a contract. The Government incurs liability only
L0:upon issuance of a communication service authorization, which is a contract that
L0:incorporates the terms and conditions of this basic agreement.
L1:(b) This agreement shall continue in force from year to year, unless terminated
L0:by either party by 30 days' written notice. Termination of this basic agreement does
L0:not terminate or cancel any communication service authorizations issued under this
L0:basic agreement prior to the termination.
L1:(c) Communication service authorizations issued under this basic agreement
L0:may be modified to incorporate the terms and conditions of a new basic agreement
L0:negotiated with the Contractor.
L0:(End of clause)
L0:Alternate I. As prescribed in 239.7411(c)(2), use the following clause, which uses a
L0:different paragraph (c) than the basic clause and adds a new paragraph (d).
**L0:TERM OF AGREEMENT AND CONTINUATION OF SERVICES?ALTERNATE I
L0:(OCT 2019)**
L1:(a) This basic agreement is not a contract. The Government incurs liability only
L0:upon issuance of a communication service authorization, which is a contract that
L0:incorporates the terms and conditions of this basic agreement.
L1:(b) This agreement shall continue in force from year to year, unless terminated
L0:by either party by 30 days' written notice. Termination of this basic agreement does
L0:not terminate or cancel any communication service authorizations issued under this
L0:basic agreement prior to the termination.
L1:(c) The Contractor's current communication services authorizations have been
L0:modified to incorporate the terms and conditions of this basic agreement.
L1:(1) All current communication service authorizations issued by _____
L0:that incorporate Basic Agreement Number _____, dated _____, are modified to
L0:incorporate this basic agreement.
L1:(2) Current communication service authorizations, issued by the activity in
L0:paragraph (c)(1) of this clause, that incorporate other agreements with the

L0:Contractor may also be modified to incorporate this basic agreement.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39
L0:Defense FAR Supplement (DFARS) Part 239
L1:(d) Communication service authorizations issued under this basic agreement
L0:may be modified to incorporate a new basic agreement with the Contractor.
L0:(End of clause)

252.239-7016 Telecommunications security equipment, devices,

Status: active

L0:252.239-7016 Telecommunications security equipment, devices,
L0:techniques, and services.
L0:As prescribed in 239.7411(d), use the following clause:
**L0:TELECOMMUNICATIONS SECURITY EQUIPMENT, DEVICES, TECHNIQUES,
L0:AND SERVICES (DEC 1991)**
L1:(a) Definitions. As used in this clause?
L1:(1) Securing means the application of Government-approved
L0:telecommunications security equipment, devices, techniques, or services to
L0:contractor telecommunications systems.
L1:(2) Sensitive information means any information the loss, misuse, or
L0:modification of which, or unauthorized access to, could adversely affect the national
L0:interest or the conduct of Federal programs, or the privacy to which individuals are
L0:entitled under 5 U.S.C. 552a (the Privacy Act), but which has not been specifically
L0:authorized under criteria established by an Executive Order or Act of Congress to
L0:be kept secret in the interest of national defense or foreign policy.
L1:(3) Telecommunications systems means voice, record, and data
L0:communications, including management information systems and local data
L0:networks that connect to external transmission media, when employed by
L0:Government agencies, contractors, and subcontractors to transmit?
L1:(i) Classified or sensitive information;
L1:(ii) Matters involving intelligence activities, cryptologic activities related
L0:to national security, the command and control of military forces, or equipment that
L0:is an integral part of a weapon or weapons system; or
L1:(iii) Matters critical to the direct fulfillment of military or intelligence
L0:missions.
L1:(b) This solicitation/contract identifies classified or sensitive information that
L0:requires securing during telecommunications and requires the Contractor to secure
L0:telecommunications systems. The Contractor agrees to secure information and
L0:systems at the following location: (Identify the location.)
L1:(c) To provide the security, the Contractor shall use Government-approved
L0:telecommunications equipment, devices, techniques, or services. A list of the
L0:approved equipment, etc. may be obtained from (identify where list can be
L0:obtained). Equipment, devices, techniques, or services used by the Contractor must
L0:be compatible or interoperable with (list and identify the location of any

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39

L0:Defense FAR Supplement (DFARS) Part 239

L0:telecommunications security equipment, device, technique, or service currently

L0:being used by the technical or requirements organization or other offices with which

L0:the Contractor must communicate).

L1:(d) Except as may be provided elsewhere in this contract, the Contractor shall

L0:furnish all telecommunications security equipment, devices, techniques, or services

L0:necessary to perform this contract. The Contractor must meet ownership eligibility

L0:conditions for communications security equipment designated as controlled

L0:cryptographic items.

L1:(e) The Contractor agrees to include this clause, including this paragraph (e), in

L0:all subcontracts which require securing telecommunications.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39

L0:Defense FAR Supplement (DFARS) Part 239

L0:PGI 239?ACQUISITION OF INFORMATION AND COMMUNICATION TECHNOLOGY

L0:PGI 239.74 -TELECOMMUNICATIONS SERVICES

L0:PGI 239.7402 Policy.

L1:(c) Foreign carriers.

L1:(i) Frequently, foreign carriers are owned by the government of the country in

L0:which they operate. The foreign governments often prescribe the methods of doing

L0:business.

L1:(ii) In contracts for telecommunications services in foreign countries, describe

L0:the rates and practices in as much detail as possible. It is DoD policy not to pay

L0:discriminatory rates. DoD will pay a reasonable rate for telecommunications services or

L0:the rate charged the military of that country, whichever is less.

L1:(iii) Refer special problems with telecommunications acquisition in foreign

L0:countries to higher headquarters for resolution with appropriate State Department

L0:representatives.

L1:(d) Long-haul telecommunications services. DISA will acquire all long-haul

L0:telecommunications services for DoD. See DoD Directive 5105.19, Defense

L0:Information Systems Agency (DISA).

L0:PGI 239.7405 Delegated authority for telecommunications resources.

L0:Related Documents:

L0:Documents related to DoD's delegated authority to enter into telecommunications

L0:service contracts are available here.

L0:PGI 239.7406 Certified cost or pricing data and data other than certified cost or

L0:pricing data.

L0:Examples of instances where certified cost or pricing data, if required in accordance

L0:with FAR 15.403-4, or data other than certified cost or pricing data, if required in

L0:accordance with FAR 15.403-3, may be necessary to support price reasonableness

L0:include?

L1:(1) Nontariffed services;

L1:(2) Special rates and charges not included in a tariff, whether filed or to be filed;

L1:(3) Special assembly rates and charges;

L1:(4) Special construction and equipment charges;

L1:(5) Contingent liabilities that are fixed at the outset of the service;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39

L0:Defense FAR Supplement (DFARS) Part 239

L1:(6) Proposed cancellation and termination charges under the clause at 252.239-

L0:7007, Cancellation or Termination of Orders, and reuse arrangements under the clause

L0:at 252.239-7008, Reuse Arrangements;

L1:(7) Rates contained in voluntary tariffs filed by nondominant common carriers; or

L1:(8) A tariff, whether filed or to be filed, for new services installed or developed

L0:primarily for Government use.

L0:PGI 239.7407 Type of contract.

L0:When using a basic agreement in conjunction with a communication service

L0:authorization?

L1:(1) Use DD Form 428, Communication Service Authorization (CSA), or an electronic

L0:data processing substitute to award, modify, cancel, or terminate telecommunications

L0:services. The CSA must?

L1:(i) Refer to the basic agreement;

L1:(ii) Specify the types and quantities and equipment to be provided as well as the

L0:tariff (or other price if a tariff is not available) of those services and equipment;

L1:(iii) Specify the premises involved;

L1:(iv) Cite the address for billing;

L1:(v) Identify the disbursing office;

L1:(vi) Provide funding information; and

L1:(vii) Include an expiration date.

L1:(2) Before awarding a CSA, comply with the requirements in FAR and DFARS, e.g.,

L0:for competition, reviews, approvals, and determinations and findings.

L0:PGI 239.76?CLOUD COMPUTING

L0:PGI 239.7602 Policy and responsibilities.

L0:PGI 239.7602-1 General.

L2:(c)(6) When the clause at DFARS 252.239-7010 applies, the contracting officer

L0:must provide the contractor with the name of the responsible Government official to

L0:contact in response to any spillage occurring in connection with the cloud computing

L0:services being provided. The requiring activity will provide the contracting officer with

L0:the name of the responsible official in accordance with agency procedures, as required

L0:by Enclosure 7 of DoDM 5200.01-V3, DoD Information Security Program: Protection of

L0:Classified Information.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39

L0:Defense FAR Supplement (DFARS) Part 239

L0:PGI 239.7602-2 Required storage of data within the United States or outlying

L0:areas.

L1:(b) Prior to authorizing storage of data outside the United States and outlying areas,

L0:the contracting officer must receive written authorization from the authorizing official.

L0:PGI 239.7603 Procedures.

L0:PGI 239.7603-1 General.

L1:(a) When the apparently successful offeror indicates in the provision at L0:DFARS 252.239-7009 that cloud computing services will be used in the performance of the contract, the contracting officer must review the DoD Cloud Service Catalog at L0:<http://www.disa.mil/Computing/Cloud-Services/Cloud-Support> (look under the L0: ?Additional Information? tab for ?Service Catalog?) to verify that the cloud service L0:provider?s offering to be used in the performance of the contract has a provisional L0:authorization prior to award (see DFARS 239.7602-1(b)).

L1:(b) When the contractor indicated in the provision at DFARS 252.239-7009 that it L0:did not anticipate the use of cloud computing services in the performance of the contract L0:and requests, after award, in accordance with the clause at DFARS 252.239-7010(b)(1), L0:that the contracting officer approve the use of cloud computing services in the L0:performance of the contract, the contracting officer must?

L1:(1) Request approval from the requiring activity for the contractor to use cloud L0:computing services; and

L1:(2) If the requiring activity provides approval, review the DoD Cloud Service L0:Catalog at <http://www.disa.mil/Computing/Cloud-Services/Cloud-Support> (look under the L0: ?Additional Information? tab for ?Service Catalog?) to verify that the cloud service L0:provider?s offering to be used in the performance of the contract has a provisional L0:authorization (see DFARS 239.7602-1(b)).

L0:PGI 239.7603-2 Notification of third party access requests.

L0:When a contractor provides notification of a request from a third party for access to L0:Government data or Government-related data, in accordance with DFARS 252.239- L0:7010(j), the contracting officer must convey the request to the requiring activity. The L0:requiring activity will coordinate a response with the mission or data owner.

L0:PGI 239.7603-3 Cyber incident and compromise reporting.

L1:(a) When a cyber incident is reported by a contractor, the DoD Cyber Crime Center L1:(DC3) will send an unclassified encrypted email containing the cyber incident report to L0:the contracting officer(s) identified on the Incident Collection Format (ICF). The DC3 L0:may request the contracting officer to send a digitally signed email to DC3.

L1:(1) The procuring contracting officer (PCO) must notify the requiring activities L0:that have contracts identified in the ICF. In cases where an administrative contracting L0:officer (ACO) receives the cyber incident report, in lieu of the PCO, the ACO must notify L0:the PCO for each affected contract, who will then notify the requiring activity.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39

L0:Defense FAR Supplement (DFARS) Part 239

L1:(2) In cases of cyber incidents involving multiple contracts, the DoD L0:components will work together to designate a single contracting officer to coordinate the L0:effort. The requiring activity will notify the contracting officer once a lead is designated.

L1:(b) When requested by the contractor, the contracting officer must provide the L0:contractor with the ?Instructions for Malware Submission? document available at L0:http://www.acq.osd.mil/dpap/dars/pgi/docs/Instructions_for_Submitting_Malware.docx. L0:The contracting officer should never receive malicious software directly from the L0:contractor.

L1:(c) If the requiring activity requests access to contractor information or equipment, in L0:accordance with DFARS 252.239-7010(g), the contracting officer must provide a written

L0:request to the contractor.

L1:(d) For additional information on cyber incident reporting, see the frequently asked

L0:question document at

L0:http://www.acq.osd.mil/dpap/pdi/network_penetration_reporting_and_contracting.html.

L0:PGI 239.7603-4 DoD damage assessment activities.

L1:(a) Prior to initiating damage assessment activities, the contracting officer must

L0:verify that a contract(s) identified in the cyber incident report include(s) the clause at

L0:DFARS 252.239-7010. If the contracting officer determines that a contract identified in

L0:the report does not contain the clause, the contracting officer must notify the requiring

L0:activity that damage assessment activities, if required, may be determined to constitute

L0:a change to the contract.

L1:(b) In cases of cyber incidents involving multiple contracts, a single contracting

L0:officer will be designated to coordinate with the contractor regarding media submission.

L1:(c) If the requiring activity requests the contracting officer obtain media, as defined

L0:at DFARS 252.239-7010, from the contractor, the contracting officer must?

L1:(1) Provide a written request for the media;

L1:(2) Provide the contractor with the ?Instructions for Media Submission?

L0:document available at

L0:http://www.acq.osd.mil/dpap/dars/pgi/docs/Instructions_for_Submitting_Media.docx; and

L1:(3) Provide a copy of the request to DC3, electronically via email at

L0:dcise@dc3.mil, and the requiring activity.

L1:(d) If the contracting officer is notified by the requiring activity that media are not

L0:required, the contracting officer must notify the contractor and simultaneously provide a

L0:copy of the notice to DC3 and the requiring activity.

L1:(e) The contracting officer must document the action taken as required by

L0:paragraph (c) or (d) of this section, in the contract file.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 39

L0:Defense FAR Supplement (DFARS) Part 239

L1:(f) Upon receipt of the contractor media, DC3 will confirm receipt in writing to the

L0:contractor and the requesting contracting officer.

L1:(g) When the requiring activity determines that the damage assessment activities

L0:are complete, the requiring activity will provide the contracting officer with a report

L0:documenting the findings from the damage assessment activities affecting covered

L0:defense information.

L1:(h) The contracting officer must include the report documenting the findings in the

L0:contract file(s) and provide a copy to the contractor.

PART 42

SUBPART 252.2 ? -TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2--TEXT OF PROVISIONS AND CLAUSES

242.202-70 Assignment of contract administration

Status: active

L0:242.202-70 Assignment of contract administration.

L1:(a) Unless an exception in paragraph (b) of this section applies, the Defense

L0:Contract Management Agency (DCMA) must administer any contract that requires

L0:performance of any contract administration function at or near a contractor facility.

L1:(1) DCMA has contracting personnel assigned to perform contract

L0:administration at contractor facilities.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L1:(2) Contracting activities may not locate contracting office personnel at

L0:contractor facilities, except?

L1:(i) In support of contracts retained for administration in accordance with

L0:paragraph (b) of this section; or

L1:(ii) As permitted under subpart 242.74.

L1:(3) DCMA must provide preaward survey assistance for work performed on a

L0:base, post, camp, station, or other military installation. The contracting office and the

L0:DCMA preaward survey monitor should jointly determine the scope of the survey and

L0:individual responsibilities.

L1:(b) DoD activities must retain contract administration for any of the following

L0:contracts:

L1:(1) The National Security Agency contracts;

L1:(2) Contracts for research and development with universities;

L1:(3) Flight training contracts;

L1:(4) Management and professional support services contracts;

L1:(5) Mapping, charting, and geodesy services contracts;

L1:(6) Base, post, camp, and station purchases, including services performed onsite

L0:(see PGI 242.202-70(b)(6));

L1:(7) Contracts for operation or maintenance of, or installation of equipment at,

L0:radar or communication network sites;

L1:(8) Communications services contracts;

L1:(9) Contracts for installation, operation, and maintenance of space-track sensors

L0:and relays;

L1:(10) Dependents Medicare program contracts;

L1:(11) Stevedoring contracts;

L1:(12) Contracts for construction and maintenance of military and civil public
L0:works, including harbors, docks, port facilities, military housing, development of
L0:recreational facilities, water resources, flood control, and public utilities;
L1:(13) Architect-engineer services contracts;
L1:(14) Airlift and sealift services contracts (Air Mobility Command and Military
L0:Sealift Command may perform contract administration services at contractor locations
L0:involved solely in performance of airlift or sealift contracts);
L1:(15) Subsistence supply contracts;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
L0:Defense FAR Supplement (DFARS) Part 242
L1:(16) Contracts at ballistic missile sites (contract administration offices may
L0:perform supporting administration of these contracts at missile activation sites during
L0:the installation, test, and checkout of the missiles and associated equipment);
L1:(17) Contracts for operation and maintenance of, or installation of equipment at,
L0:military test ranges, facilities, and installations; and
L1:(18) The Defense Energy Support Center, Defense Logistics Agency, contracts.
L1:(19) Contracts awarded to commercial entities for shipbuilding, conversion, and
L0:repair at the facilities of such entities.

242.202-71 Secondary delegations of contract administration

Status: active

L0:242.202-71 Secondary delegations of contract administration.
L1:(a) A contract administration office may request support, in special circumstances,
L0:from a component not listed in the Federal Directory of Contract Administration
L0:Services Components (available via the internet at
L0:<https://piee.eb.mil/pcm/xhtml/unauth/index.xhtml>).
L1:(b) Follow the procedures at PGI 242.202-71 when requesting support on a
L0:subcontract that includes foreign military sale contract requirements.

242.301 General

Status: active

L0:242.301 General.
L0:Contract administration services performed outside the United States should be
L0:performed in accordance with FAR 42.301 unless there are established policies and
L0:procedures addressing the specific situation. In this case, coordinate proposed actions
L0:with the appropriate U.S. country teams or commanders of unified and specified
L0:commands.

242.302-70 Contract administration functions

Status: active

L0:242.302-70 Contract administration functions.

L2:(a)(1) See 242.7502 for ACO responsibilities upon receipt of an audit report

L0:identifying significant accounting system or related internal control weaknesses or
L0:deficiencies.

L1:(2) For contract administration functions related to IR&D projects and B&P

L0:projects performed by major contractors, see 242.570-3(a).

L1:(3) Perform all payment administration in accordance with the applicable

L0:payment clauses.

L1:(4) Do not delegate the responsibility to make payments to the Defense

L0:Contract Management Agency (DCMA). Follow the procedures at PGI 242.302-70(a)(4)

L0:for designation of payment offices.

L1:(5) See PGI 223.370-4 for contract administration responsibilities of contracts

L0:for ammunition and explosives.

L1:(6) Incorporate requirements for surveillance of aircraft flight and ground

L0:operations into the contract, task order, or delivery order. Use the applicable version of

L0:the combined regulation/instruction entitled "Contractor's Flight and Ground

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L0:Operations" (Air Force Instruction 10-220, Army Regulation 95-20, Naval Air Systems

L0:Command (NAVAIR) Instruction 3710.1 (Series), Coast Guard Instruction M13020.3

L1:(Series), and Defense Contract Management Agency Instruction 8210-1 (Series)). See

L0:PGI 242.302-70(a)(6).

L1:(7) Support program offices and buying activities in preaward efforts leading to

L0:a solicitation or award.

L1:(8) Serve as the single point of contact for all Single Process Initiative (SPI)

L0:Management Council activities. The ACO must negotiate and execute facility-wide

L0:class modifications and agreements for SPI processes, when authorized by the affected

L0:components.

L1:(9) DCMA is responsible for reviewing earned value management system

L1:(EVMS) plans and for verifying initial and continuing contractor compliance with DoD

L0:EVMS criteria. Do not retain this function.

L1:(10) Require contractor implementation of the Synchronized Predeployment

L0:and Operational Tracker (SPOT) and maintain surveillance over contractor compliance

L0:with SPOT business rules available at the website:

L0:<https://www.acq.osd.mil/asds/log/cso/ocs/spot.html> for contracts incorporating the clause

L0:at 252.225-7040, Contractor Personnel Supporting U.S. Armed Forces Deployed

L0:Outside the United States. See PGI 242.302-70(a)(10) for guidance on assessing

L0:contractor's implementation of SPOT.

L1:(11) Maintain surveillance over contractor compliance with trafficking in

L0:persons requirements for all DoD contracts for services incorporating the clause at FAR

L0:52.222-50, Combating Trafficking in Persons, and, when necessary, its Alternate I, as

L0:identified in the clause prescription at FAR 22.1703-2. (See PGI 222.1703.)

L1:(12) Approve or disapprove contractor business systems, as identified in the

L0:clause at 252.242-7998, Contractor Business Systems.

L1:(13) See PGI 242.302-70(a)(13) for guidelines on monitoring contractor costs.

L1:(14) Review and audit contractor identification of contractor-approved suppliers

L0:for the acquisition of electronic parts, as identified in the clause at 252.246-7008,

L0:Sources of Electronic Parts.

L2:(b)(1) Issue, negotiate, and execute orders under basic ordering agreements for

L0:overhaul, maintenance, and repair of ships, only upon prior coordination and agreement

L0:with the ACO.

L1:(2) Work with the contract administration office (CAO) to resolve questioned

L0:direct costs.

L1:(i) Negotiate or settle questioned direct costs in an incurred cost audit,

L0:except for classified contracts. The procuring contracting officer may delegate this

L0:authority to the CAO only upon prior coordination and agreement with the CAO. Upon

L0:such delegation, the procuring contracting officer must provide the CAO access within

L0:30 days to all supporting documentation in their possession related to the questioned

L0:direct costs in an incurred cost audit.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L1:(ii) After settlement of the questioned direct costs, the CAO must provide

L0:the procuring contracting office the results of the settlement. The procuring contracting

L0:office must make any adjustments resulting from the settlement on affected contracts

L0:and report such adjustments to the CAO.

242.402 Assignment and location

Status: active

L0:242.402 Assignment and location.

L1:(c) If the agencies cannot agree, refer the matter to the Principal Director,

L0:Defense Pricing, Contracting, and Acquisition Policy.

242.505 Final indirect cost rates

Status: active

L0:242.505 Final indirect cost rates.

L0:See DoD Class Deviation 2012-O0013, DCAA Policy and Procedure for Sampling Low-

L0:Risk Incurred Cost Proposals.

242.505-1 Contracting officer determination procedure

Status: active

L0:242.505-1 Contracting officer determination procedure.

L1:(a) Applicability and responsibility.

L1:(1) The corporate administrative contracting officer and individual

L0:administrative contracting officers must jointly decide how to conduct negotiations.

L0:Follow the procedures at PGI 242.505-1(a)(1) when negotiations are conducted on a

L0:coordinated basis.

242.505-2 Auditor determination procedure

Status: active

L0:242.505-2 Auditor determination procedure.

L1:(b) Procedures.

L2:(2)(iii) When agreement cannot be reached with the contractor, the auditor will

L0:issue a DCAA Form 1, Notice of Contract Costs Suspended and/or Disapproved, in

L0:addition to the advisory report to the administrative contracting officer.

242.507 Quick-closeout procedure

Status: active

L0:242.507 Quick-closeout procedure.

L1:(a) Defense Contract Management Agency (DCMA) administrative contracting

L0:officers are authorized to negotiate the settlement of direct and indirect costs for a

L0:specific contract, task order, or delivery order to be closed in advance of the

L0:determination of final direct costs and indirect rates set forth in FAR 42.505, regardless

L0:of the dollar value or percentage of unsettled direct or indirect costs allocable to the

L0:contract, task order, or delivery order.

L1:(2) In lieu of the thresholds at FAR 42.507(a)(2), the amount of unsettled direct

L0:costs and indirect costs to be allocated to the contract, task order, or delivery order will

L0:be considered relatively insignificant when the total unsettled direct costs and indirect

L0:costs to be allocated to any one contract, task order, or delivery order do not exceed \$2

L0:million, regardless of the total contract, task order, or delivery order amount.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

242.570 Independent research and development and bid and proposal costs

Status: active

L0:242.570 Independent research and development and bid and proposal costs.

242.570-1 Scope

Status: active

L0:242.570-1 Scope.

L0:This section implements 10 U.S.C. 3762, Independent research and development costs:

L0:allowable costs; 10 U.S.C. 3763, Bid and proposal costs: allowable costs; and 10 U.S.C.

L0:3847, Defense Contract Audit Agency: annual report.

242.570-2 Policy

Status: active

L0:242.570-2 Policy.

L0:Defense contractors are encouraged to engage in independent research and

L0:development (IR&D) projects that will advance the needs of DoD for future technology

L0:and advanced capability (see part 231).

242.570-3 Responsibilities

Status: active

L0:242.570-3 Responsibilities.

L1:(a) The cognizant administrative contracting officer (ACO) or corporate ACO must

L0:determine cost allowability of IR&D costs and bid and proposal (B&P) costs as set forth

L0:in 231.205-18 and FAR 31.205-18.

L1:(b) The Defense Contract Audit Agency (DCAA)?

L1:(1) Submit an annual report on the DoD-wide B&P program, to the Principal

L0:Director, Defense Pricing, Contracting, and Acquisition Policy, Office of the Under

L0:Secretary of Defense for Acquisition and Sustainment, in connection with 10 U.S.C.

L0:3763(c); DCMA or the military department responsible for performing contract

L0:administration functions is responsible for providing DCAA with statistical information,

L0:as necessary; and

L1:(2) For IR&D costs and B&P costs incurred under any DoD contract in the

L0:previous Government fiscal year, submit an annual report to the congressional defense

L0:committees as required by 10 U.S.C. 3847.

L1:(c) The Office of the Under Secretary of Defense for Research and Engineering

L0:(OUSD(R&E)), is responsible for establishing a regular method for communication?

L2:(1)(i) From DoD to contractors, of timely and comprehensive information

L0:regarding planned or expected needs of DoD for future technology and advanced

L0:capability, by posting information on communities of interest and upcoming meetings

L0:on the Defense Technical Information Center (DTIC) website at

L0:<https://defenseinnovationmarketplace.dtic.mil/communities-of-interest>; and

L1:(ii) From contractors to DoD, of brief technical descriptions of contractor

L0:IR&D projects; and

L1:(2) By providing OUSD(R&E) contact information: [osd.pentagon.ousd-](mailto:osd.pentagon.ousd-re.mbx.communications@mail.mil)

L0:re.mbx.communications@mail.mil.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

242.603-70 Disallowing costs after incurrence

Status: active

L0:242.603-70 Disallowing costs after incurrence.

L1:(a) Contracting officer receipt of vouchers. Contracting officer receipt of vouchers is

L0:applicable only for cost-reimbursement contracts with the Canadian Commercial Corporation. See PGI 225.870-5 for invoice procedures.

L1:(b) Auditor receipt of voucher.

L1:(1) The contract auditor is the authorized representative of the contracting officer for?

L1:(i) Receiving vouchers from contractors electronically or by other delivery methods as directed by the terms of the contract;

L1:(ii) Approving interim vouchers, that were selected using sampling methodologies for provisional payment and sending them to the disbursing office after a pre-payment review. Interim vouchers not selected for a pre-payment review are considered provisionally approved and will be sent directly to the disbursing office. All provisionally approved interim vouchers are subject to a later audit of actual costs incurred;

L1:(iii) Reviewing completion/final vouchers and sending them to the administrative contracting officer; and

L1:(iv) Issuing DCAA Forms 1, Notice of Contract Costs Suspended and/or Disapproved, to deduct costs where allowability is questionable.

L1:(2) The administrative contracting officer?

L1:(i) Approves all completion/final vouchers and sends them to the disbursing officer; and

L1:(ii) May issue or direct the issuance of DCAA Form 1 on any cost when there is reason to believe it should be suspended or disallowed.

242.803-70 Surveillance requirements

Status: active

L0:242.803-70 Surveillance requirements.

L0:The cognizant contract administration office?

L1:(a) Must perform production surveillance on all contractors that have Criticality Designator A or B contracts;

L1:(b) Must not perform production surveillance on contractors that have only Criticality Designator C contracts, unless specifically requested by the contracting officer; and

L1:(c) When production surveillance is required?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L1:(1) Conduct a periodic risk assessment of the contractor to determine the degree of production surveillance needed for all contracts awarded to that contractor. The risk assessment must consider information provided by the contractor and the contracting officer;

L1:(2) Develop a production surveillance plan based on the risk level determined during a risk assessment;

L1:(3) Modify the production surveillance plan to incorporate any special surveillance requirements for individual contracts, including any requirements

L0:identified by the contracting officer; and
L1:(4) Monitor contract progress and identify potential contract delinquencies in
L0:accordance with the production surveillance plan. Contracts with Criticality Designator
L0:C are exempt from this requirement unless specifically requested by the contracting
L0:officer.

242.804-70 Assignment of criticality designator

Status: active

L0:242.804-70 Assignment of criticality designator.
L0:See PGI 242.804-70 for criticality designator assignment procedures.

242.804-71 Reporting requirements

Status: active

L0:242.804-71 Reporting requirements.
L0:See PGI 242.804-71 for production and surveillance reporting requirements

242.805-70 Contract clause

Status: active

L0:242.805-70 Contract clause.
L1:(a) When using the clause at FAR 52.242-2, include the following instructions in the
L0:contract schedule?
L1:(1) Frequency and timing of reporting (normally five working days after each
L0:reporting period);
L1:(2) Line items, exhibits, or exhibit line items requiring reports;
L1:(3) Offices (with addressees/codes) where reports should be sent (always include
L0:the contracting office and contract administration office); and
L1:(4) The following requirements for report content?
L1:(i) The problem, actual or potential, and its cause;
L1:(ii) Items and quantities affected;
L1:(iii) When the delinquency started or will start;
L1:(iv) Actions taken to overcome the delinquency;
L1:(v) Estimated recovery date; and/or
L1:(vi) Proposed schedule revision.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
L0:Defense FAR Supplement (DFARS) Part 242

242.902-70 Processing agreements

Status: active

L0:242.902-70 Processing agreements.

L0:Process and execute novation and change-of-name agreements in accordance with the
L0:procedures at PGI 242.902-70.

242.903 Applicability of novation agreements

Status: active

L0:242.903 Applicability of novation agreements.

L1:(i) When a novation agreement is required and the transferee intends to incur

L0:restructuring costs as defined at 231.205-70, include the following provision as

L0:paragraph (b)(7) of the novation agreement instead of the paragraph (b)(7) provided in

L0:the sample format at FAR 42.903(i):

L0:?(7)(i) Except as set forth in paragraph (7)(ii), the Transferor and the Transferee

L0:agree that the Government is not obligated to pay or reimburse either of them for, or

L0:otherwise give effect to, any costs, taxes, or other expenses, or any related increases,

L0:directly or indirectly arising out of or resulting from the transfer or this Agreement,

L0:other than those that the Government in the absence of this transfer or Agreement

L0:would have been obligated to pay or reimburse under the terms of the contracts.

L1:(ii) The Government recognizes that restructuring by the Transferee

L0:incidental to the acquisition/merger may be in the best interests of the Government.

L0:Restructuring costs that are allowable under Part 31 of the Federal Acquisition

L0:Regulation (FAR) or Part 231 of the Defense Federal Acquisition Regulation

L0:Supplement (DFARS) may be reimbursed under flexibly-priced novated contracts,

L0:provided the Transferee demonstrates that the restructuring will reduce overall costs to

L0:the Department of Defense (DoD) (and to the National Aeronautics and Space

L0:Administration (NASA), where there is a mix of DoD and NASA contracts), and the

L0:requirements included in DFARS 231.205-70 are met. Restructuring costs are

L0:prohibited on novated contracts unless there is an audit of the restructuring proposal; a

L0:determination by the contracting officer of overall reduced costs to DoD/NASA; and an

L0:Advance Agreement setting forth a cumulative cost ceiling for restructuring projects

L0:and the period to which such costs shall be assigned?.

242.1102-70 Policy

Status: active

L0:242.1102-70 Policy.

L1:(a) Include the following in the Contractor Performance Assessment Reporting

L0:System (CPARS)?

L1:(1) Assessments of the contractor?s performance against, and efforts to achieve,

L0:the goals identified in its comprehensive small business subcontracting plan when the

L0:contract contains 252.219-7997 Small Business Subcontracting Plan (Test Program);

L1:(2) Notations on contractors that have denied multiple requests for submission

L0:of data other than certified cost or pricing data over the preceding 3-year period, but

L0:nevertheless received an award, unless exempted by the head of the contracting activity

L0:(10 U.S.C. 3705(b)(2)(B)); and
L1:(3) Information on contractor compliance with requirements of the clause at
L0:252.247-7023, Transportation of Supplies by Sea (see 10 U.S.C. 2631(d)).
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
L0:Defense FAR Supplement (DFARS) Part 242
L1:(b) Evaluate contractor performance for contracts, task orders, and delivery orders
L0:using the thresholds at DFARS 215.104-70(g) in lieu of the thresholds at FAR
L0:42.1102(b) through (d).
L1:(c) See DFARS subparts 208.2 and 208.3 for evaluating service contracts
L0:awarded to AbilityOne participating nonprofit agencies and Federal Prison
L0:Industries, Inc., respectively.

242.7000 Contractor business system deficiencies

Status: active

L0:242.7000 Contractor business system deficiencies.
L1:(a) Definitions. As used in this subpart?
L0:Acceptable contractor business systems? means contractor business systems that
L0:comply with the terms and conditions of the applicable business system clauses listed in
L0:the definition of ?contractor business systems? in this section.
L0:Contractor business systems? means?
L1:(i) Accounting system, if the contract includes the clause at 252.242-7999,
L0:Accounting System Administration;
L1:(ii) Earned value management system, if the contract includes the clause at
L0:252.234-7999, Earned Value Management System;
L1:(iii) Estimating system, if the contract includes the clause at 252.215-7002, Cost
L0:Estimating System Requirements;
L1:(iv) Material management and accounting system, if the contract includes the
L0:clause at 252.242-7997, Material Management and Accounting System;
L1:(v) Property management system, if the contract includes the clause at 252.245-
L0:7003, Contractor Property Management System Administration; and
L1:(vi) Purchasing system, if the contract includes the clause at 252.244-7998,
L0:Contractor Purchasing System Administration.
L0:Covered contract? means a contract that is subject to the Cost Accounting Standards
L0:under 41 U.S.C. chapter 15, as implemented in regulations found at 48 CFR 9903.201-1
L0:(10 U.S.C. 3841 note prec).
L1:(b) Determination to withhold payments. If the contracting officer makes a final
L0:determination to disapprove a contractor?s business system in accordance with the
L0:clause at 252.242-7998, Contractor Business Systems, the contracting officer must?
L1:(1) In accordance with agency procedures, identify one or more covered
L0:contracts containing the clause at 252.242-7998 from which payments will be withheld.
L0:When identifying the covered contracts from which to withhold payments, the
L0:contracting officer must ensure that the total amount of payment withholding under
L0:252.242-7998, when there are material weaknesses in multiple contractor business

L0:systems, does not exceed 10 percent of progress payments, performance-based
L0:payments, and interim payments under cost-reimbursement, labor-hour, and time-and-
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
L0:Defense FAR Supplement (DFARS) Part 242
L0:materials contracts billed under each of the identified covered contracts. Similarly, the
L0:contracting officer must ensure that the total amount of payment withholding under the
L0:clause at 252.242-7998 for each business system does not exceed 5 percent of progress
L0:payments, performance-based payments, and interim payments under cost-
L0:reimbursement, labor-hour, and time-and-materials contracts billed under each of the
L0:identified covered contracts. The contracting officer has the sole discretion to identify
L0:the covered contracts from which to withhold payments.

L1:(2) Promptly notify the contractor, in writing, of the contracting officer's
L0:determination to implement payment withholding in accordance with the clause at
L0:252.242-7998. Include the notice of payment withholding in the written final
L0:determination for the contractor business system and inform the contractor that?

L1:(i) Payments must be withheld from the contract or contracts identified in
L0:the written determination in accordance with the clause at 252.242-7998 until the
L0:contracting officer determines that there are no remaining material weaknesses; and
L1:(ii) The contracting officer reserves the right to take other actions within the
L0:terms and conditions of the contract.

L1:(3) Provide a copy of the determination to all contracting officers administering
L0:the selected contracts from which payments will be withheld. The contracting officer
L0:must also provide a copy of the determination to the auditor; payment office; affected
L0:contracting officers at the buying activities; and cognizant contracting officers in
L0:contract administration activities.

L1:(c) Monitoring contractor's corrective action. In consultation with the auditor or
L0:functional specialist, monitor the contractor's progress in correcting the weaknesses.
L0:Notify the contractor of any decision to decrease or increase the amount of payment
L0:withholding in accordance with the clause at 252.242-7998.

L1:(d) Correction of material weaknesses.

L1:(1) If the contractor notifies the contracting officer that the contractor has
L0:corrected the material weaknesses, the contracting officer must request the auditor or
L0:functional specialist to review the correction to verify that the weaknesses have been
L0:corrected. If, after receipt of verification, the contracting officer determines that the
L0:contractor has corrected all material weaknesses as directed by the contracting officer's
L0:final determination, the contracting officer must discontinue the withholding of
L0:payments, release any payments previously withheld, and approve the system, unless
L0:other material weaknesses remain.

L1:(2) Prior to the receipt of verification, the contracting officer may discontinue
L0:withholding payments pending receipt of verification, and release any payments
L0:previously withheld, if the contractor submits evidence that the material weaknesses
L0:have been corrected, and the contracting officer, in consultation with the auditor or
L0:functional specialist, determines that there is a reasonable expectation that the
L0:corrective actions have been implemented by the contractor and are expected to correct
L0:the material weaknesses.

L1:(3) Within 90 days of receipt of the contractor notification that the contractor
L0:has corrected the material weaknesses, the contracting officer must?
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
L0:Defense FAR Supplement (DFARS) Part 242
L1:(i) Make a determination that?
L1:(A) The contractor has corrected all material weaknesses as directed by
L0:the contracting officer's final determination in accordance with paragraph (d)(1) of this
L0:section;
L0:been implemented in accordance with paragraph (d)(2) of this section; or
L1:(B) There is a reasonable expectation that the corrective actions have
L1:(C) The contractor has not corrected all material weaknesses as
L0:directed by the contracting officer's final determination in accordance with paragraph
L2:(d)(1) of this section, or there is not a reasonable expectation that the corrective actions
L0:have been implemented in accordance with paragraph (d)(2) of this section; or
L1:(ii) Reduce withholding directly related to the material weaknesses covered
L0:under the corrective action plan by at least 50 percent of the amount being withheld
L0:from progress payments and performance-based payments, and direct the contractor, in
L0:writing, to reduce the percentage withheld on interim cost vouchers by at least 50
L0:percent, until the contracting officer makes a determination in accordance with
L0:paragraph (d)(3)(i) of this section.
L1:(4) If, at any time, the contracting officer determines that the contractor has
L0:failed to correct the material weaknesses identified in the contractor's notification, the
L0:contracting officer will continue, reinstate, or increase withholding from progress
L0:payments and performance-based payments, and direct the contractor, in writing, to
L0:continue, reinstate, or increase the percentage withheld on interim cost vouchers to the
L0:percentage initially withheld, until the contracting officer determines that the
L0:contractor has corrected all material weaknesses as directed by the contracting officer's
L0:final determination.
L1:(e) Sample formats. See PGI 242.7000 for sample formats of contracting officer
L0:determinations for use with the clause at 252.242-7998.

242.7001 Contract clause

Status: active

L0:242.7001 Contract clause.
L0:Insert the clause at 252.242-7998, Contractor Business Systems, in solicitations and
L0:contracts (other than in contracts with educational institutions, Federally Funded
L0:Research and Development Centers (FFRDCs), or University Associated Research
L0:Centers (UARC) operated by educational institutions) when?
L1:(a) The resulting contract will be a covered contract as defined in 242.7000(a); and
L1:(b) The solicitation or contract includes any of the following clauses:
L1:(1) 252.215-7002, Cost Estimating System Requirements.
L1:(2) 252.234-7999, Earned Value Management System.
L1:(3) 252.242-7997, Material Management and Accounting System.

L1:(4) 252.242-7999, Accounting System Administration.
L1:(5) 252.244-7998, Contractor Purchasing System Administration.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
L0:Defense FAR Supplement (DFARS) Part 242
L1:(6) 252.245-7003, Contractor Property Management System
L0:Administration.

242.7100 General

Status: active

L0:242.7100 General.
L0:A voluntary refund is a payment or credit (adjustment under one or more contracts or
L0:subcontracts) to the Government from a contractor or subcontractor that is not required
L0:by any contractual or other legal obligation. Follow the procedures at PGI 242.7100 for
L0:voluntary refunds.

242.7200 Scope of subpart

Status: active

L0:242.7200 Scope of subpart.
L1:(a) This subpart provides policies, procedures, and standards for use in the
L0:evaluation of a contractor's material management and accounting system (MMAS).
L1:(b) The policies, procedures, and standards in this subpart?
L1:(1) Apply only when the contractor has contracts exceeding the simplified
L0:acquisition threshold that are not for the acquisition of commercial products or
L0:commercial services and are either?
L1:(i) Cost-reimbursement contracts; or
L1:(ii) Fixed-price contracts with progress payments made on the basis of costs
L0:incurred by the contractor as work progresses under the contract; and
L1:(2) Do not apply to small businesses, educational institutions, or nonprofit
L0:organizations.

242.7201 Definitions

Status: active

L0:242.7201 Definitions.
L0:As used in this subpart?
L0:?"Acceptable material management and accounting system?" means a material
L0:management and accounting system that generally complies with the system criteria in
L0:paragraph (d) of the clause at 252.242-7997, Material Management and Accounting
L0:System.
L0:?"Material management and accounting system (MMAS)" means the contractor?s
L0:system or systems for planning, controlling, and accounting for the acquisition, use,

L0:issuing, and disposition of material. Material management and accounting systems
L0:may be manual or automated. They may be stand-alone systems, or they may be
L0:integrated with planning, engineering, estimating, purchasing, inventory, accounting,
L0:or other systems.
L0:Valid time-phased requirements? means material that is?
L1:(1) Needed to fulfill the production plan, including reasonable quantities for
L0:scrap, shrinkage, yield, etc.; and
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
L0:Defense FAR Supplement (DFARS) Part 242
L1:(2) Charged or billed to contracts or other cost objectives in a manner consistent
L0:with the need to fulfill the production plan.

242.7202 Policy

Status: active

L0:242.7202 Policy.
L1:(a) Contractors are required to have an MMAS that conforms to the standards in
L0:paragraph (d) of the clause at 252.242-7997, Material Management and Accounting
L0:System, so that the system?
L1:(1) Reasonably forecasts material requirements;
L1:(2) Ensures the costs of purchased and fabricated material charged or allocated
L0:to a contract are based on valid time-phased requirements; and
L1:(3) Maintains a consistent, equitable, and unbiased logic for costing of material
L0:transactions.
L1:(b) If appropriate, in consultation with the auditor and functional specialist?
L1:(1) Determine the acceptability of the contractor?s MMAS and approve or
L0:disapprove the system; and
L1:(2) Pursue correction of any weaknesses or deficiencies.
L1:(c) In consultation with the auditor and functional specialist, if appropriate,
L0:determine whether the contractor?s MMAS complies with the system criteria for an
L0:acceptable MMAS as prescribed in the clause at 252.242-7997, Material Management
L0:and Accounting System.

242.7203 Review procedures

Status: active

L0:242.7203 Review procedures.
L1:(a) Criteria for conducting reviews. Conduct an MMAS review when?
L1:(1) A contractor has \$40 million of qualifying sales to the Government during
L0:the contractor's preceding fiscal year; and
L1:(2) The administrative contracting officer (ACO), with advice from the auditor,
L0:determines an MMAS review is needed based on a risk assessment of the contractor?s
L0:past experience and current vulnerability.
L1:(b) Qualifying sales. Qualifying sales are sales for which certified cost or pricing

L0:data were required under 10 U.S.C. 3702, as implemented in FAR 15.403, or that are
 L0:contracts priced on other than a firm-fixed-price or fixed-price with economic price
 L0:adjustment basis. Sales include prime contracts, subcontracts, and modifications to
 L0:such contracts and subcontracts.

L1:(c) Disposition of findings?

L1:(1) Reporting of findings. The auditor or functional specialist must document
 L0:findings and recommendations in a report provided to the contracting officer. If the
 L0:auditor or functional specialist identifies any material weakness, the report must
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
 L0:Defense FAR Supplement (DFARS) Part 242

L0:describe the weaknesses or deficiencies in sufficient detail to allow the contracting
 L0:officer to understand the weaknesses or deficiencies.

L1:(2) Initial determination.

L1:(i) Review findings and recommendations and, if there are no material
 L0:weaknesses, promptly notify the contractor, in writing, that the contractor's MMAS is
 L0:acceptable and approved; or

L1:(ii) If there are one or more material weaknesses due to the contractor?s
 L0:failure to meet one or more of the MMAS system criteria in the clause at 252.242-

L0:7997?

L1:(A) Promptly make an initial written determination on any material
 L0:weaknesses and notify the contractor, in writing, providing a description of each
 L0:material weakness in sufficient detail to allow the contractor to understand the
 L0:weakness or deficiency;

L0:determination within 30 days; and

L1:(B) Request the contractor to respond, in writing, to the initial

L1:(C) Promptly evaluate the contractor's response to the initial
 L0:determination in consultation with the auditor or functional specialist and make a final
 L0:determination (see PGI 242.7203(c)(2)).

L1:(3) Final determination.

L1:(i) The ACO must make a final determination and notify the contractor
 L0:that?

L0:deficiencies remain; or

L1:(A) The contractor's MMAS is acceptable and approved, and no

L1:(B) Material weaknesses remain. Identify any remaining material
 L0:weaknesses and indicate the adequacy of any proposed or completed corrective action.
 L0:The contracting officer must ?

L1:(1) Request that the contractor, within 45 days of receipt of the
 L0:final determination, either correct the weaknesses or submit an acceptable corrective
 L0:action plan showing milestones and actions to eliminate the weaknesses;
 L0:252.242-7997; and

L1:(2) Disapprove the system in accordance with the clause at
 L0:7998, Contractor Business Systems, if the clause is included in the contract.

L1:(3) Withhold payments in accordance with the clause at 252.242-

L1:(ii) Follow the procedures relating to monitoring a contractor's corrective
 L0:action and the correction of material weaknesses in PGI 242.7203(c)(3).

L1:(d) System approval. Promptly approve a previously disapproved MMAS and notify
L0:the contractor when the contracting officer determines that there are no remaining
L0:material weaknesses.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
L0:Defense FAR Supplement (DFARS) Part 242
L1:(e) Contracting officer notifications. Promptly distribute copies of a determination to
L0:approve a system, disapprove a system and withhold payments, or approve a previously
L0:disapproved system and release withheld payments to the auditor; payment office;
L0:affected contracting officers at the buying activities; and cognizant contracting officers
L0:in contract administration activities.

242.7204 Contract clause

Status: active

L0:242.7204 Contract clause.
L0:Insert the clause at 252.242-7997, Material Management and Accounting System, in all
L0:solicitations and contracts exceeding the simplified acquisition threshold that are not
L0:for the acquisition of commercial products or commercial services and?
L1:(a) Are not awarded to small businesses, educational institutions, or nonprofit
L0:organizations; and
L1:(b) Are either?
L1:(1) Cost-reimbursement contracts; or
L1:(2) Fixed-price contracts with progress payments made on the basis of costs
L0:incurred by the contractor as work progresses under the contract.

242.7301 General

Status: active

L0:242.7301 General.
L1:(a) The administrative contracting officer (ACO) is responsible for determining the
L0:allowability of insurance/pension costs in Government contracts and for determining
L0:the need for a Contractor/Insurance Pension Review (CIPR). Defense Contract
L0:Management Agency (DCMA) insurance/pension specialists and Defense Contract
L0:Audit Agency (DCAA) auditors assist ACOs in making these determinations, conduct
L0:CIPRs when needed, and perform other routine audits as authorized under FAR 42.505
L0:and 52.215-2. A CIPR is a DCMA/DCAA joint review that?
L1:(1) Provides an in-depth evaluation of a contractor's?
L1:(i) Insurance programs;
L1:(ii) Pension plans;
L1:(iii) Other deferred compensation plans; and
L1:(iv) Related policies, procedures, practices, and costs; or
L1:(2) Concentrates on specific areas of the contractor's insurance programs,
L0:pension plans, or other deferred compensation plans.
L1:(b) DCMA is the DoD Executive Agent for the performance of all CIPRs.

L1:(c) DCAA is the DoD agency designated for the performance of contract audit
L0:responsibilities related to Cost Accounting Standards administration as described in
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
L0:Defense FAR Supplement (DFARS) Part 242
L0:FAR subparts 30.1, 30.2, and 30.4 as they relate to a contractor?s insurance programs,
L0:pension plans, and other deferred compensation plans.

242.7302 Requirements

Status: active

L0:242.7302 Requirements.

L2:(a)(1) Conduct an in-depth CIPR as described at DFARS 242.7301(a)(1) when?

L1:(i) A contractor has \$50 million of qualifying sales to the Government
L0:during the contractor?s preceding fiscal year; and
L1:(ii) The ACO, with advice from DCMA insurance/pension specialists and
L0:DCAA auditors, determines a CIPR is needed based on a risk assessment of the
L0:contractor?s past experience and current vulnerability.

L1:(2) Qualifying sales are sales for which certified cost or pricing data were
L0:required under 10 U.S.C. 3702, as implemented in FAR 15.403, or that are contracts
L0:priced on other than a firm-fixed-price or fixed-price with economic price adjustment
L0:basis. Sales include prime contracts, subcontracts, and modifications to such contracts
L0:and subcontracts.

L1:(b) A special CIPR that concentrates on specific areas of a contractor?s insurance
L0:programs, pension plans, or other deferred compensation plans must be performed for a
L0:contractor (including, but not limited to, a contractor meeting the requirements in
L0:paragraph (a) of this section) when any of the following circumstances exists, but only if
L0:the circumstance(s) may result in a material impact on Government contract costs:

L1:(1) Information or data reveals a deficiency in the contractor's
L0:insurance/pension program.

L1:(2) The contractor proposes or implements changes in its insurance, pension, or
L0:deferred compensation plans.

L1:(3) The contractor is involved in a merger, acquisition, or divestiture.

L1:(4) The Government needs to follow up on contractor implementation of prior
L0:CIPR recommendations.

L1:(c) The DCAA auditor must use relevant findings and recommendations of
L0:previously performed CIPRs in determining the scope of any audits of insurance and
L0:pension costs.

L1:(d) When a Government organization believes that a review of the contractor?s
L0:insurance/pension program should be performed, that organization should provide a
L0:recommendation for a review to the ACO. If the ACO concurs, the review should be
L0:performed as part of an ACO-initiated special CIPR or as part of a CIPR already
L0:scheduled for the near future.

242.7303 Responsibilities

Status: active

L0:242.7303 Responsibilities.

L0:Follow the procedures at PGI 242.7303 when conducting a CIPR.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

242.7400 General

Status: active

L0:242.7400 General.

L1:(a) Program managers may determine that they need technical representation in

L0:contractor facilities to perform non-contract administration technical duties and to

L0:provide liaison, guidance, and assistance on systems and programs. In these cases, the

L0:program manager may assign technical representatives under the procedures in

L0:242.7401.

L1:(b) A technical representative is a representative of a DoD program, project, or

L0:system office performing non-contract administration technical duties at or near a

L0:contractor facility. A technical representative is not?

L1:(1) A representative of a contract administration or contract audit component;

L0:or

L1:(2) A contracting officer's representative (see 201.404).

242.7401 Procedures

Status: active

L0:242.7401 Procedures.

L0:When the program, project, or system manager determines that a technical

L0:representative is required, follow the procedures at PGI 242.7401.

242.7501 Definitions

Status: active

L0:242.7501 Definitions.

L0:As used in this subpart?

L0:Acceptable accounting system? means a system that complies with the system

L0:criteria in paragraph (c) of the clause at 252.242-7999, Accounting System

L0:Administration, to provide reasonable assurance that?

L1:(1) Applicable laws and regulations are complied with;

L1:(2) The accounting system and cost data are reliable;

L1:(3) Risk of misallocations and mischarges are minimized; and

L1:(4) Contract allocations and charges are consistent with billing procedures.

L0: Accounting system? means the contractor's system or systems for accounting methods, procedures, and controls established to gather, record, classify, analyze, summarize, interpret, and present accurate and timely financial data for reporting in compliance with applicable laws, regulations, and management decisions, and may include subsystems for specific areas such as indirect and other direct costs, compensation, billing, labor, and general information technology.

242.7502 Policy

Status: active

L0: 242.7502 Policy.

L1: (a) Contractors receiving cost-reimbursement, incentive type, time-and-materials, or labor-hour contracts, or contracts which provide for progress payments based on costs
L0: Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
L0: Defense FAR Supplement (DFARS) Part 242
L0: or on a percentage or stage of completion, are required to maintain an accounting system.

L1: (b) In consultation with the auditor or functional specialist?

L1: (1) Determine the acceptability of a contractor's accounting system and approve or disapprove the system; and

L1: (2) Pursue correction of any weaknesses or deficiencies.

L1: (c) In evaluating the acceptability of a contractor's accounting system, in consultation with the auditor or functional specialist, determine whether the contractor's accounting system complies with the system criteria for an acceptable accounting system as prescribed in the clause at 252.242-7999, Accounting System Administration.

L1: (d) Disposition of findings?

L1: (1) Reporting of findings. The auditor must submit its findings and recommendations in a report to the contracting officer. If the auditor identifies any material weaknesses, the report must describe the weaknesses or deficiencies in sufficient detail to allow the contracting officer to understand the weaknesses or deficiencies. Follow the procedures at PGI 242.7502 for reporting of deficiencies.

L1: (2) Initial determination.

L1: (i) Review findings and recommendations and, if there are no material weaknesses, promptly notify the contractor, in writing, that the contractor's accounting system is acceptable and approved; or

L1: (ii) If there are one or more material weaknesses due to the contractor's failure to meet one or more of the accounting system criteria in the clause at 252.242-

L0: 7999?

L1: (A) Promptly make an initial written determination on any material weaknesses and notify the contractor, in writing, providing a description of each material weakness in sufficient detail to allow the contractor to understand the weakness;
L0: determination within 30 days; and

L1:(B) Request the contractor to respond, in writing, to the initial
 L1:(C) Promptly evaluate the contractor's response to the initial
 L0:determination, in consultation with the auditor or functional specialist, and make a
 L0:final determination.
 L1:(3) Final determination.
 L1:(i) Make a final determination and notify the contractor, in writing, that?
 L0:no material weaknesses remain; or
 L1:(A) The contractor's accounting system is acceptable and approved, and
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
 L0:Defense FAR Supplement (DFARS) Part 242
 L0:weaknesses and indicate the adequacy of any proposed or completed corrective action.
 L1:(B) Material weaknesses remain. Identify any remaining material
 L1:(1) Request that the contractor, within 45 days of receipt of the
 L0:final determination, either correct the weaknesses or submit an acceptable corrective
 L0:action plan showing milestones and actions to eliminate the weaknesses;
 L0:with the clause at 252.242-7999; and
 L1:(2) Make a determination to disapprove the system in accordance
 L0:7998, Contractor Business Systems, if the clause is included in the contract.
 L1:(3) Withhold payments in accordance with the clause at 252.242-
 L1:(ii) Follow the procedures relating to monitoring a contractor's corrective
 L0:action and the correction of material weaknesses in PGI 242.7502(d)(3).
 L1:(e) System approval. Promptly approve a previously disapproved accounting system
 L0:and notify the contractor when there are no remaining material weaknesses.
 L1:(f) Contracting officer notifications. Promptly distribute copies of a determination to
 L0:approve a system, disapprove a system and withhold payments, or approve a previously
 L0:disapproved system and release withheld payments to the auditor; payment office;
 L0:affected contracting officers at the buying activities; and cognizant contracting officers
 L0:in contract administration activities.
 L1:(g) Mitigating the risk of deficiencies on specific proposals.
 L1:(1) Field pricing teams must discuss identified deficiencies and their impact in
 L0:all reports on contractor proposals until the deficiencies are resolved.
 L1:(2) When negotiating a proposal generated by an accounting system with an
 L0:identified deficiency, evaluate whether the deficiency impacts the negotiations. If it
 L0:does not, proceed with negotiations. See PGI 242.7502(g) for alternatives actions.

242.7503 Contract clause

Status: active

L0:242.7503 Contract clause.
 L0:Insert the clause at 252.242-7999, Accounting System Administration, in solicitations
 L0:and contracts when contemplating?
 L1:(a) A cost-reimbursement, incentive type, time-and-materials, or labor-hour
 L0:contract; or
 L1:(b) A contract with progress payments made on the basis of costs incurred by the

L0:contractor or on a percentage or stage of completion.

242.7600 Scope of subpart

Status: active

L0:242.7600 Scope of subpart

L0:This subpart prescribes policies and procedures for the postaward orientation of

L0:contractors and subcontractors through (a) a conference or (b) a letter or other form

L0:of written communication.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

242.7601 General

Status: active

L0:242.7601 General.

L1:(a) A postaward orientation aids both Government and contractor personnel to (l)

L0:achieve a clear and mutual understanding of all contract requirements and (2) identify

L0:and resolve potential problems. However, it is not a substitute for the contractor's fully

L0:understanding the work requirements at the time offers are submitted, nor is it to be

L0:used to alter the final agreement arrived at in any negotiations leading to contract

L0:award.

L1:(b) Postaward orientation is encouraged to assist?

L1:(1) Small business concerns;

L1:(2) Small disadvantaged business concerns;

L1:(3) Veteran-owned small business concerns;

L1:(4) Service-disabled veteran-owned small business concerns;

L1:(5) HUBZone small business concerns; and

L1:(6) Women-owned small business concerns (including economically

L0:disadvantaged women-owned small business concerns and women-owned small

L0:business concerns eligible under the Women-Owned Small Business Program).

L1:(c) While cognizant Government or contractor personnel may request the contracting

L0:officer to arrange for orientation, it is up to the contracting officer to decide whether a

L0:postaward orientation in any form is necessary.

242.7602 Selecting contracts for postaward orientation

Status: active

L0:242.7602 Selecting contracts for postaward orientation.

L0:See PGI 242.7602 when selecting contracts for postaward orientation.

242.7603 Postaward conferences

Status: active

L0:242.7603 Postaward conferences.

L0:242-7603-1 Postaward conference arrangements.

L0:Follow the procedures at PGI 242-7603-1 when planning a postaward conference.

242.7603-2 Postaward conference procedure

Status: active

L0:242.7603-2 Postaward conference procedure.

L1:(a) DD Form 1484, Post-Award Conference Record, may be used in conducting a

L0:postaward conference and in preparing the conference report.

L1:(b) For contracts that include the clause at 252.234-7004, Cost and Software Data

L0:Reporting, discuss the contractor's standard cost and software data reporting (CSDR)

L0:process that satisfies the guidelines contained in the DoD 5000.04-M-1, CSDR Manual,

L0:and the requirements in the Government-approved CSDR plan for the contract, DD

L0:Form 2794, and related Resource Distribution Table.

L1:(c) See PGI 242.7603-3 for additional postaward conference procedures.

242.7603-3 Postaward conference report

Status: active

L0:242.7603-3 Postaward conference report.

L0:See PGI 242.7603-3 for postaward conference report content and chairperson

L0:responsibilities.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

242.7604 Postaward letters

Status: active

L0:242.7604 Postaward letters.

L0:A letter or other written form of communication to the contractor may serve as

L0:adequate postaward orientation. The letter should identify the Government

L0:representative responsible for administering the contract and cite any unusual or

L0:significant contract requirements. Do not make changes to the contract in a postaward

L0:letter (see PGI 242.7603-2(c)).

242.7605 Postaward subcontractor conferences

Status: active

L0:242.7605 Postaward subcontractor conferences.

L1:(a) The prime contractor is generally responsible for conducting postaward

L0:conferences with subcontractors. However, the prime contractor may invite
L0:Government representatives, including those involved in contract administration, to a
L0:conference with subcontractors, or the Government may request that the prime
L0:contractor initiate a conference with subcontractors.
L1:(b) Government representatives must?
L1:(1) Recognize the lack of privity of contract between the Government and
L0:subcontractors,
L1:(2) Not take action that is inconsistent with or alters subcontracts, and
L1:(3) Ensure that any changes in direction or commitment affecting the prime
L0:contract or contractor resulting from a subcontractor conference are made by written
L0:direction of the contracting officer to the prime contractor (see PGI 242.7603-2).

252.242-7000 Reserved

Status: active

L0:252.242-7000 Reserved.

252.242-7001 Reserved

Status: active

L0:252.242-7001 Reserved.

252.242-7002 Reserved

Status: active

L0:252.242-7002 Reserved.

252.242-7003 Reserved

Status: active

L0:252.242-7003 Reserved.

252.242-7997 Material Management and Accounting System. (DEVIATION

Status: active

L0:252.242-7997 Material Management and Accounting System. (DEVIATION

L0:2026-O0050)

L0:As prescribed in 242.7204, use the following clause:

L0:MATERIAL MANAGEMENT AND ACCOUNTING SYSTEM

L0:(DEVIATION 2026-O0050) (MAR 2026)

L1:(a) Definitions. As used in this clause?

L0:?"Acceptable material management and accounting system?" means a material

L0:management and accounting system that generally complies with the system criteria in L0:paragraph (d) of this clause.

L0:Contractor? means a business unit as defined in Federal Acquisition Regulation (FAR)

L0:2.101.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L0:Material management and accounting system (MMAS)? means the Contractor's

L0:system or systems for planning, controlling, and accounting for the acquisition, use,

L0:issuing, and disposition of material. Material management and accounting systems

L0:may be manual or automated. They may be stand-alone systems, or they may be

L0:integrated with planning, engineering, estimating, purchasing, inventory, accounting,

L0:or other systems.

L0:Material weakness? means a deficiency or combination of deficiencies in the internal

L0:control over information in contractor business systems, such that there is a reasonable

L0:possibility that a material misstatement of such information will not be prevented, or

L0:detected and corrected, on a timely basis. A reasonable possibility exists when the

L0:likelihood of an event occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L0:Valid time-phased requirements? means material that is?

L1:(1) Needed to fulfill the production plan, including reasonable quantities for

L0:scrap, shrinkage, yield, etc.; and

L1:(2) Charged or billed to contracts or other cost objectives in a manner consistent

L0:with the need to fulfill the production plan.

L1:(b) General. The Contractor shall?

L1:(1) Maintain an MMAS that?

L1:(i) Reasonably forecasts material requirements;

L1:(ii) Ensures that costs of purchased and fabricated material charged or

L0:allocated to a contract are based on valid time-phased requirements; and

L1:(iii) Maintains a consistent, equitable, and unbiased logic for costing of

L0:material transactions; and

L1:(2) Assess its MMAS and take reasonable action to comply with the MMAS

L0:standards in paragraph (e) of this clause.

L1:(c) Disclosure and maintenance requirements. The Contractor shall?

L1:(1) Have policies, procedures, and operating instructions that adequately

L0:describe its MMAS;

L1:(2) Provide to the Administrative Contracting Officer (ACO), upon request, the

L0:results of internal reviews that it has conducted to ensure compliance with established

L0:MMAS policies, procedures, and operating instructions; and

L1:(3) Disclose significant changes in its MMAS to the ACO at least 30 days prior

L0:to implementation.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L1:(d) System criteria. The MMAS shall have adequate internal controls to ensure

L0:system and data integrity, and shall?

L1:(1) Have an adequate system description including policies, procedures, and
L0:operating instructions that comply with the FAR and Defense FAR Supplement;
L1:(2) Ensure that costs of purchased and fabricated material charged or allocated
L0:to a contract are based on valid time-phased requirements as impacted by
L0:minimum/economic order quantity restrictions.
L1:(i) A 98 percent bill of material accuracy and a 95 percent master production
L0:schedule accuracy are desirable as a goal in order to ensure that requirements are both
L0:valid and appropriately time-phased.
L1:(ii) If systems have accuracy levels below these, the Contractor shall provide
L0:adequate evidence that?
L0:levels; and
L1:(A) There is no material harm to the Government due to lower accuracy
L0:impact on the Government;
L1:(B) The cost to meet the accuracy goals is excessive in relation to the
L1:(3) Provide a mechanism to identify, report, and resolve system control
L0:weaknesses and manual override. Systems should identify operational exceptions, such
L0:as excess/residual inventory, as soon as known;
L1:(4) Provide audit trails and maintain records (manual and those in machine-
L0:readable form) necessary to evaluate system logic and to verify through transaction
L0:testing that the system is operating as desired;
L1:(5) Establish and maintain adequate levels of record accuracy and include
L0:reconciliation of recorded inventory quantities to physical inventory by part number on
L0:a periodic basis. A 95 percent accuracy level is desirable. If systems have an accuracy
L0:level below 95 percent, the Contractor shall provide adequate evidence that?
L1:(i) There is no material harm to the Government due to lower accuracy
L0:levels; and
L1:(ii) The cost to meet the accuracy goal is excessive in relation to the impact
L0:on the Government;
L1:(6) Provide detailed descriptions of circumstances that will result in manual or
L0:system generated transfers of parts;
L1:(7) Maintain a consistent, equitable, and unbiased logic for costing of material
L0:transactions as follows:
L1:(i) The Contractor shall maintain and disclose written policies describing
L0:the transfer methodology and the loan/pay-back technique.
L1:(ii) The costing methodology may be standard or actual cost, or any of the
L0:inventory costing methods in 48 CFR 9904.411-50(b). The Contractor shall maintain
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
L0:Defense FAR Supplement (DFARS) Part 242
L0:consistency across all contract and customer types, and from accounting period to
L0:accounting period for initial charging and transfer charging.
L1:(iii) The system should transfer parts and associated costs within the same
L0:billing period. In the few instances where this may not be appropriate, the Contractor
L0:may accomplish the material transaction using a loan/pay-back technique. The
L0:loan/pay-back technique means that the physical part is moved temporarily from the
L0:contract, but the cost of the part remains on the contract. The procedures for the

L0:loan/pay-back technique must be approved by the ACO. When the technique is used,

L0:the Contractor shall have controls to ensure?

L1:(A) Parts are paid back expeditiously;

L0:might occur;

L1:(B) Procedures and controls are in place to correct any overbilling that

L0:and the date the part was borrowed; and

L1:(C) Monthly, at a minimum, identification of the borrowing contract

L0:contract;

L1:(D) The cost of the replacement part is charged to the borrowing

L1:(8) Where allocations from common inventory accounts are used, have controls

L0:(in addition to those in paragraphs (d)(2) and (7) of this clause) to ensure that?

L1:(i) Reallocations and any credit due are processed no less frequently than

L0:the routine billing cycle;

L1:(ii) Inventories retained for requirements that are not under contract are

L0:not allocated to contracts; and

L1:(iii) Algorithms are maintained based on valid and current data;

L1:(9) Have adequate controls to ensure that physically commingled inventories

L0:that may include material for which costs are charged or allocated to fixed-price, cost-

L0:reimbursement, and commercial contracts do not compromise requirements of any of

L0:the standards in paragraphs (d)(1) through (8) of this clause. Government-furnished

L0:material shall not be?

L1:(i) Physically commingled with other material; or

L1:(ii) Used on commercial work; and

L1:(10) Be subjected to periodic internal reviews to ensure compliance with

L0:established policies and procedures.

L1:(e) Material weaknesses.

L1:(1) The Contracting Officer will provide an initial determination to the

L0:Contractor, in writing, of any material weaknesses. The initial determination will

L0:describe the underlying deficiency in sufficient detail to allow the Contractor to

L0:understand the weaknesses or deficiencies.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L1:(2) The Contractor shall respond within 30 days to a written initial

L0:determination from the Contracting Officer that identifies material weaknesses in the

L0:Contractor's MMAS. If the Contractor disagrees with the initial determination, the

L0:Contractor shall state, in writing, its rationale for disagreeing.

L1:(3) The Contracting Officer will evaluate the Contractor's response and notify

L0:the Contractor, in writing, of the Contracting Officer's final determination concerning?

L1:(i) Remaining material weaknesses;

L1:(ii) The adequacy of any proposed or completed corrective action; and

L1:(iii) System disapproval if the Contracting Officer determines that one or

L0:more material weaknesses remain.

L1:(f) If the Contractor receives the Contracting Officer's final determination of

L0:material weaknesses, the Contractor shall, within 45 days of receipt of the final

L0:determination, either correct the material weaknesses or submit an acceptable

L0:corrective action plan showing milestones and actions to eliminate the material
L0:weaknesses.

L1:(g) Withholding payments. If the Contracting Officer makes a final determination

L0:to disapprove the Contractor's MMAS, and the contract includes the clause at 252.242-

L0:7998, Contractor Business Systems, the Contracting Officer will withhold payments in

L0:accordance with that clause.

L0:(End of clause)

252.242-7998 Contractor Business Systems. (DEVIATION 2026-O0050)

Status: active

L0:252.242-7998 Contractor Business Systems. (DEVIATION 2026-O0050)

L0:As prescribed in 242.7001, use the following clause:

L0:CONTRACTOR BUSINESS SYSTEMS (DEVIATION 2026-O0050) (MAR 2026)

L1:(a) This clause only applies to covered contracts that are subject to the Cost

L0:Accounting Standards under 41 U.S.C. chapter 15, as implemented in regulations found

L0:at 48 CFR 9903.201-1 (see the FAR Appendix).

L1:(b) Definitions. As used in this clause?

L0:Acceptable contractor business systems? means contractor business systems that

L0:comply with the terms and conditions of the applicable business system clauses listed in

L0:the definition of "contractor business systems" in this clause.

L0:Contractor business systems? means?

L1:(1) Accounting system, if this contract includes the clause at 252.242-7999,

L0:Accounting System Administration;

L1:(2) Earned value management system, if this contract includes the clause at

L0:252.234-7999, Earned Value Management System);

L1:(3) Estimating system, if this contract includes the clause at 252.215-7002, Cost

L0:Estimating System Requirements;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L1:(4) Material management and accounting system, if this contract includes the

L0:clause at 252.242-7997, Material Management and Accounting System;

L1:(5) Property management system, if this contract includes the clause at

L0:252.245-7003, Contractor Property Management System Administration; and

L1:(6) Purchasing system, if this contract includes the clause at 252.244-7998,

L0:Contractor Purchasing System Administration.

L0:Material weakness? means a deficiency or combination of deficiencies in the internal

L0:control over information in contractor business systems, such that there is a reasonable

L0:possibility that a material misstatement of such information will not be prevented, or

L0:detected and corrected, on a timely basis. A reasonable possibility exists when the

L0:likelihood of an event occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L1:(c) General. The Contractor shall establish and maintain acceptable business

L0:systems in accordance with the terms and conditions of this contract.

L1:(d) Material weaknesses.

L1:(1) The Contractor shall respond, in writing, within 30 days to an initial

L0:determination that there are one or more material weaknesses in one or more of the

L0:Contractor?s business systems.

L1:(2) The Contracting Officer will evaluate the Contractor's response and notify

L0:the Contractor, in writing, of the final determination as to whether the Contractor?s

L0:business system contains material weaknesses. If the Contracting Officer determines

L0:that the Contractor?s business system contains material weaknesses, the final

L0:determination will include a notice to withhold payments.

L1:(e) Withholding payments.

L1:(1) If the Contracting Officer issues the final determination with a notice to

L0:withhold payments for material weaknesses in a contractor business system required

L0:under this contract, the Contracting Officer will withhold 5 percent of amounts due

L0:from progress payments and performance-based payments, and direct the Contractor,

L0:in writing, to withhold 5 percent from its billings on interim cost vouchers on cost-

L0:reimbursement, labor-hour, and time-and-materials contracts until the Contracting

L0:Officer has determined that the Contractor has corrected all material weaknesses as

L0:directed by the Contracting Officer?s final determination. The Contractor shall, within

L0:45 days of receipt of the notice, either correct the weaknesses or submit an acceptable

L0:corrective action plan showing milestones and actions to eliminate the weaknesses.

L1:(2) If the Contractor submits an acceptable corrective action plan within 45

L0:days of receipt of a notice of the Contracting Officer?s intent to withhold payments, and

L0:the Contracting Officer, in consultation with the auditor or functional specialist,

L0:determines that the Contractor is effectively implementing such plan, the Contracting

L0:Officer will reduce withholding directly related to the material weaknesses covered

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L0:under the corrective action plan, to 2 percent from progress payments and performance-

L0:based payments, and direct the Contractor, in writing, to reduce the percentage

L0:withheld on interim cost vouchers to 2 percent until the Contracting Officer determines

L0:the Contractor has corrected all material weaknesses as directed by the Contracting

L0:Officer?s final determination. However, if at any time, the Contracting Officer

L0:determines that the Contractor has failed to follow the accepted corrective action plan,

L0:the Contracting Officer will increase withholding from progress payments and

L0:performance-based payments, and direct the Contractor, in writing, to increase the

L0:percentage withheld on interim cost vouchers to the percentage initially withheld, until

L0:the Contracting Officer determines that the Contractor has corrected all material

L0:weaknesses as directed by the Contracting Officer?s final determination.

L1:(3) Payment withhold percentage limits.

L1:(i) The total percentage of payments withheld on amounts due under each

L0:progress payment, performance-based payment, or interim cost voucher on this contract

L0:shall not exceed?

L0:contractor business system; and

L1:(A) Five percent for one or more material weaknesses in any single

L0:business systems.

L1:(B) Ten percent for material weaknesses in multiple contractor

L1:(ii) If this contract contains pre-existing withholds, and the application of

L0:any subsequent payment withholds will cause withholding under this clause to exceed

L0:the payment withhold percentage limits in paragraph (e)(3)(i) of this clause, the

L0:Contracting Officer will reduce the payment withhold percentage in the final

L0:determination to an amount that will not exceed the payment withhold percentage

L0:limits.

L1:(4) For the purpose of this clause, payment means any of the following

L0:payments authorized under this contract:

L1:(i) Interim payments under?

L1:(A) Cost-reimbursement contracts;

L1:(B) Incentive type contracts;

L1:(C) Time-and-materials contracts;

L1:(D) Labor-hour contracts.

L1:(ii) Progress payments.

L1:(iii) Performance-based payments.

L1:(5) Payment withholding shall not apply to payments on fixed-price line items

L0:where performance is complete and the items were accepted by the Government.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L1:(6) The withholding of any amount or subsequent payment to the Contractor

L0:shall not be construed as a waiver of any rights or remedies the Government has under

L0:this contract.

L1:(7) Notwithstanding the provisions of any clause in this contract providing for

L0:interim, partial, or other payment withholding on any basis, the Contracting Officer

L0:may withhold payment in accordance with the provisions of this clause.

L1:(8) The payment withholding authorized in this clause is not subject to the

L0:interest-penalty provisions of the Prompt Payment Act.

L1:(f) Correction of weaknesses.

L1:(1) The Contractor shall notify the Contracting Officer, in writing, when the

L0:Contractor has corrected the business system's weaknesses.

L1:(2) Once the Contractor has notified the Contracting Officer that all weaknesses

L0:have been corrected, the Contracting Officer will take one of the following actions:

L1:(i) If the Contracting Officer determines that the Contractor has corrected

L0:all material weaknesses as directed by the Contracting Officer's final determination, the

L0:Contracting Officer will, as appropriate, discontinue the withholding of progress

L0:payments and performance-based payments, and direct the Contractor, in writing, to

L0:discontinue the payment withholding from billings on interim cost vouchers under this

L0:contract associated with the Contracting Officer's final determination, and authorize

L0:the Contractor to bill for any monies previously withheld that are not also being

L0:withheld due to other material weaknesses. Any payment withholding under this

L0:contract due to other material weaknesses will remain in effect until the Contracting

L0:Officer determines that those material weaknesses are corrected.

L1:(ii) If the Contracting Officer determines that the Contractor still has

L0:material weaknesses, the Contracting Officer will continue the withholding of progress
L0:payments and performance-based payments, and the Contractor shall continue
L0:withholding amounts from its billings on interim cost vouchers in accordance with
L0:paragraph (e) of this clause, and not bill for any monies previously withheld.
L1:(iii) If the Contracting Officer determines, based on the evidence submitted
L0:by the Contractor, that there is a reasonable expectation that the corrective actions
L0:have been implemented and are expected to correct the material weaknesses, the
L0:Contracting Officer will discontinue withholding payments, release any payments
L0:previously withheld directly related to the material weaknesses identified in the
L0:Contractor notification, direct the Contractor, in writing, to discontinue the payment
L0:withholding from billings on interim cost vouchers associated with the Contracting
L0:Officer's final determination, and authorize the Contractor to bill for any monies
L0:previously withheld.
L1:(iv) If, within 90 days of receipt of the Contractor notification that the
L0:Contractor has corrected the material weaknesses, the Contracting Officer has not
L0:made a determination in accordance with paragraph (f)(2)(i), (ii), or (iii) of this clause,
L0:the Contracting Officer will reduce withholding directly related to the material
L0:weaknesses identified in the Contractor notification by at least 50 percent of the
L0:amount being withheld from progress payments and performance-based payments, and
L0:direct the Contractor, in writing, to reduce the payment withholding from billings on
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
L0:Defense FAR Supplement (DFARS) Part 242
L0:interim cost vouchers directly related to the material weaknesses identified in the
L0:Contractor notification by a specified percentage that is at least 50 percent, but not
L0:authorize the Contractor to bill for any monies previously withheld until the
L0:Contracting Officer makes a determination in accordance with paragraph (f)(2)(i), (ii), or
L1:(iii) of this clause.
L1:(v) At any time after the Contracting Officer reduces or discontinues the
L0:withholding of progress payments and performance-based payments, or directs the
L0:Contractor to reduce or discontinue the payment withholding from billings on interim
L0:cost vouchers under this contract, if the Contracting Officer determines that the
L0:Contractor has failed to correct the material weaknesses identified in the Contractor's
L0:notification, the Contracting Officer will reinstate or increase withholding from progress
L0:payments and performance-based payments, and direct the Contractor, in writing, to
L0:reinstate or increase the percentage withheld on interim cost vouchers to the
L0:percentage initially withheld, until the Contracting Officer determines that the
L0:Contractor has corrected all material weaknesses as directed by the Contracting
L0:Officer's final determination.

252.242-7999 Accounting System Administration. (DEVIATION 2026-O0050)

Status: active

L0:252.242-7999 Accounting System Administration. (DEVIATION 2026-O0050)
L0:As prescribed in 242.7503, use the following clause:

L0:(End of clause)

L0:ACCOUNTING SYSTEM ADMINISTRATION

L0:(DEVIATION 2026-O0050) (MAR 2026)

L1:(a) Definitions. As used in this clause?

L0: ?Acceptable accounting system? means a system that complies with the system criteria

L0: in paragraph (c) of this clause to provide reasonable assurance that?

L1:(1) Applicable laws and regulations are complied with;

L1:(2) The accounting system and cost data are reliable;

L1:(3) Risk of misallocations and mischarges are minimized; and

L1:(4) Contract allocations and charges are consistent with billing procedures.

L0: ?Accounting system? means the Contractor?s system or systems for accounting methods,

L0: procedures, and controls established to gather, record, classify, analyze, summarize,

L0: interpret, and present accurate and timely financial data for reporting in compliance

L0: with applicable laws, regulations, and management decisions, and may include

L0: subsystems for specific areas such as indirect and other direct costs, compensation,

L0: billing, labor, and general information technology.

L0: ?Material weakness? means a deficiency or combination of deficiencies in the internal

L0: control over information in contractor business systems, such that there is a reasonable

L0: possibility that a material misstatement of such information will not be prevented, or

L0: detected and corrected, on a timely basis. A reasonable possibility exists when the

L0: likelihood of an event occurring is?

L1:(1) Probable; or

L0: Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0: Defense FAR Supplement (DFARS) Part 242

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L1:(b) General. The Contractor shall establish and maintain an acceptable accounting

L0: system. Failure to maintain an acceptable accounting system, as defined in this clause,

L0: shall result in the withholding of payments if the contract includes the clause at

L0: 252.242-7998, Contractor Business Systems, and also may result in disapproval of the

L0: system.

L1:(c) System criteria. The Contractor?s accounting system shall provide for?

L1:(1) A sound internal control environment, accounting framework, and

L0: organizational structure;

L1:(2) Proper segregation of direct costs from indirect costs;

L1:(3) Identification and accumulation of direct costs by contract;

L1:(4) A logical and consistent method for the accumulation and allocation of

L0: indirect costs to intermediate and final cost objectives;

L1:(5) Accumulation of costs under general ledger control;

L1:(6) Reconciliation of subsidiary cost ledgers and cost objectives to general

L0: ledger;

L1:(7) Approval and documentation of adjusting entries;

L1:(8) Management reviews or internal audits of the system to ensure compliance

L0: with the Contractor?s established policies, procedures, and accounting practices;

L1:(9) A timekeeping system that identifies employees? labor by intermediate or

L0:final cost objectives;

L1:(10) A labor distribution system that charges direct and indirect labor to the

L0:appropriate cost objectives;

L1:(11) Interim (at least monthly) determination of costs charged to a contract

L0:through routine posting of books of account;

L1:(12) Exclusion from costs charged to Government contracts of amounts which

L0:are not allowable in terms of Federal Acquisition Regulation (FAR) part 31, Contract

L0:Cost Principles and Procedures, and other contract provisions;

L1:(13) Identification of costs by contract line item and by units (as if each unit or

L0:line item were a separate contract), if required by the contract;

L1:(14) Segregation of preproduction costs from production costs, as applicable;

L1:(15) Cost accounting information, as required?

L1:(i) By contract clauses concerning limitation of cost (FAR 52.232-20),

L0:limitation of funds (FAR 52.232-22), or allowable cost and payment (FAR 52.216-7); and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L1:(ii) To readily calculate indirect cost rates from the books of accounts;

L1:(16) Billings that can be reconciled to the cost accounts for both current and

L0:cumulative amounts claimed and comply with contract terms;

L1:(17) Adequate, reliable data for use in pricing follow-on acquisitions; and

L1:(18) Accounting practices in accordance with standards promulgated by the

L0:Cost Accounting Standards Board, if applicable, otherwise, Generally Accepted

L0:Accounting Principles.

L1:(d) Material weaknesses.

L1:(1) The Contracting Officer will provide an initial determination to the

L0:Contractor, in writing, of any material weaknesses. The initial determination will

L0:describe the underlying deficiency in sufficient detail to allow the Contractor to

L0:understand the weakness or deficiency.

L1:(2) The Contractor shall respond within 30 days to a written initial

L0:determination from the Contracting Officer that identifies material weaknesses in the

L0:Contractor's accounting system. If the Contractor disagrees with the initial

L0:determination, the Contractor shall state, in writing, its rationale for disagreeing.

L1:(3) The Contracting Officer will evaluate the Contractor's response and notify

L0:the Contractor, in writing, of the Contracting Officer's final determination concerning?

L1:(i) Remaining material weaknesses;

L1:(ii) The adequacy of any proposed or completed corrective action; and

L1:(iii) System disapproval, if the Contracting Officer determines that one or

L0:more material weaknesses remain.

L1:(e) If the Contractor receives the Contracting Officer's final determination of

L0:material weaknesses, the Contractor shall, within 45 days of receipt of the final

L0:determination, either correct the material weaknesses or submit an acceptable

L0:corrective action plan showing milestones and actions to eliminate the material

L0:weaknesses.

L1:(f) Withholding payments. If the Contracting Officer makes a final determination to

L0:disapprove the Contractor's accounting system, and the contract includes the clause at

L0:252.242-7998, Contractor Business Systems, the Contracting Officer will withhold

L0:payments in accordance with that clause.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L0:PGI 242?CONTRACT ADMINISTRATION AND AUDIT SERVICES

L0:PGI 242.001-70 Interagency agreements.

L2:(d)(2) Upon receipt of a request for contract administration services, the CCP must?

L1:(i) Determine whether the request is from a friendly foreign government or an

L0:international agency in which the United States is a participant;

L1:(ii) Determine whether the services are consistent with the DoD mutual security

L0:program policies. The Assistant Secretary of Defense (International Security Affairs) is the

L0:source of information for questions about the eligibility of foreign governments to receive

L0:services);

L1:(iii) Ensure that the reimbursement arrangements are consistent with DFARS

L0:242.001-70;

L1:(iv) Coordinate with appropriate contract administration offices to determine

L0:whether DoD can provide the services;

L1:(v) Notify the requestor that the request is accepted, or provide reasons why it

L0:cannot be accepted;

L1:(vi) Distribute the acquisition documents and related materials to contract

L0:administration offices; and

L1:(vii) Receive statements of costs incurred by contract administration offices for

L0:reimbursable services and forward them for billing to the Security Assistance Accounting

L0:Center.

L0:PGI 242.2 CONTRACT ADMINISTRATION SERVICES

L0:PGI 242.202-70 Assignment of contract administration.

L1:(b)((6) DoD activities must retain contract administration functions for contracts

L0:performed at a base, post, camp, station, or other military installation. These contracts are

L0:normally the responsibility of the installation or tenant commander. However, DCMA must

L0:perform contract administration services on a military installation at the request of the military

L0:department if there is a prior agreement.

L0:PGI 242.202-71 Secondary delegations of contract administration.

L0:When requesting support on a subcontract that includes foreign military sale (FMS)

L0:requirements, the contract administration office must?

L1:(1) Mark ?FMS Requirement? on the face of the documents; and

L1:(2) For each FMS case involved, provide the FMS case identifier, associated item

L0:quantities, DoD prime contract number, and prime contract line/subline item number.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L0:PGI 242.3?CONTRACT ADMINISTRATION OFFICE FUNCTIONS

L0:PGI 242.302-70 Contract administration functions.

L2:(a)(4) For contracts assigned to DCMA for contract administration, designate as the

L0:payment office?

L1:(i) The cognizant Defense Finance and Accounting Service (DFAS) payment
 L0:office as specified in the Federal Directory of Contract Administration Services Components,
 L0:available at <https://piee.eb.mil/pcm/xhtml/unauth/index.xhtml>, for contracts funded with DoD
 L0:funds;

L1:(ii) The department or agency payment office, if authorized by defense financial
 L0:management regulations or if the contract is funded with non-DoD funds; or

L1:(iii) Multiple payment offices under paragraphs (a)(13)(B)(1)(i) and (ii) of this
 L0:section, if the contract is funded with both DoD and non-DoD funds.

L1:(2) For contracts not assigned to DCMA, select a payment office or offices
 L0:under department/agency procedures.

L1:(3) When the Governmentwide commercial purchase card is the method of
 L0:payment for a contract or order, enter ?CRCARD? in the payment office code block.

L1:(6) Assignment of a Government flight representative (GFR) may require execution
 L0:of a secondary contract administration delegation, which is used to transfer contract
 L0:administration responsibilities (see FAR 42.302(a)) from one contract administration office to
 L0:another office or command. Secondary contract administration delegations are appropriate
 L0:when, for example, contract work is performed at locations geographically separated from
 L0:the contract administration office. In lieu of transferring contract administration responsibility
 L0:through a secondary contract administration delegation, a GFR from one unit may be
 L0:delegated GFR responsibility from an outside contract administration organization that has
 L0:retained contract administration responsibility. This is accomplished through the use of a
 L0:formal letter of agreement functionally assigning the GFR to the outside contract
 L0:administration organization for the limited purpose of performing contract administration
 L0:under FAR 42.302(a)(56).

L1:(10) Use the following when use of Synchronized Predeployment and Operational
 L0:Tracker (SPOT) is a requirement of the contract;

L1:(i) For suggested criteria to assess a contractor's implementation of SPOT, see
 L0:SPOT Compliance Checklist at <https://www.acq.osd.mil/asds/log/cso/ocs/spot.html>.

L1:(ii) For visibility into certain discrepant records in SPOT, use the following audit
 L0:compliance reports (ACRs) available via the Total Operational Picture Support System

L1:(TOPSS):

L0:that were submitted less than 10 days prior to the estimated deployment start date.

L1:(A) Deployment Status Report (ACR-01). Lists all deployment requests
 L0:where the ITAD was entered more than one day after the actual ITAD.

L1:(B) In-Theater Arrival Date (ITAD) Report (ACR-02). Lists all records
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
 L0:Defense FAR Supplement (DFARS) Part 242

L1:(C) Primary Duty Station Report (ACR-03). Lists all deployments where
 L0:the primary duty station arrival date was entered more than three days after the actual duty
 L0:station arrival date.

L1:(D) Closeout Deployment Report (ACR-05). Lists all deployments where
 L0:the actual deployment end date was entered more than three days after the actual
 L0:deployment end date.

L1:(E) Open/Blank In-Theater Arrival Date (ITAD) Report (ACR- 06). Lists
 L0:where the ITAD was not entered into SPOT within 15 days after the estimated deployment

L0:start date.

L1:(iii) Obtain a TOPSS account by following the TOPPS PKI Certificate

L0:Registration instructions at <https://www.acq.osd.mil/asds/log/cso/ocs/spot.html>.

L1:(iv) Take immediate action to notify contractors of non-compliance with SPOT

L0:(e.g., issue one of the delinquency notices identified at FAR 49.607).

L1:(v) Document performance deficiencies related to SPOT non-compliance that

L0:will be relevant to past performance evaluations for future contract opportunities in

L0:accordance with FAR subpart 42.11.

L2:(13)(i) Use these guidelines for?

L0:contractors to control direct and indirect costs related to Government business; and

L1:(A) Monitoring the policies, procedures, and practices used by

L0:costs.

L1:(B) Eliminating duplication in Government monitoring of contractors'

L1:(ii) Effective management of contract costs is essential to the efficient and

L0:economical performance of Government contracts. Contractors are responsible for

L0:managing and controlling their direct and indirect costs; however, DoD must

L0:systematically monitor the management of contractors' costs to ensure these

L0:responsibilities are met.

L1:(iii) Departments and agencies should conduct a formal program of

L0:Government monitoring of contractor policies, procedures, and practices for controlling

L0:costs (cost monitoring) at contractor locations where?

L1:(A) Sales to the Government, as determined by the contract

L0:administration offices, during the contractor's next fiscal year are expected to exceed

L0:\$200 million in contracts?

L1:(1) Based on costs incurred; or

L1:(2) Negotiated based on projected costs.

L1:(B) The contract administration office determines the cost benefits

L0:derived from monitoring the individual contractors with less than \$200 million in other

L0:than firm fixed-price and fixed-price with economic price adjustment contracts is

L0:warranted; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L0:by the head of the contracting activity.

L1:(C) Significant Government business exists and is specifically directed

L1:(iv) Departments and agencies are responsible for designating the cost

L0:monitoring sites and discontinuing them when the criteria are no longer met.

L1:(v) Contract administration offices (CAOs), which are designated as cost

L0:monitoring sites, are responsible for?

L1:(A) Assigning a cost monitoring specialist (CMS) to conduct the

L0:program. The CMS may be the administrative contracting officer (ACO) or any other

L0:CAO employee whose normal function relates to evaluation of contractor performance.

L0:year and the cost monitoring report from the concluding fiscal year.

L1:(B) Reviewing and approving the cost monitoring plan for the next fiscal

L1:(vi) The ACO is responsible for?

L0:referenced in paragraph (iii) of this section;

L1:(A) In the absence of a CMS, ensuring completion of the CMS duties
L0:and contract negotiations;

L1:(B) Considering review results in direct and indirect rate negotiations
L0:in the cost monitoring review reports; and

L1:(C) Ensuring the contractor implements corrective action recommended
L0:review findings, conclusions, or recommendations.

L1:(D) Resolving disputes with the contractor regarding cost monitoring
L1:(vii) The CMS is responsible for managing the cost monitoring effort within
L0:the CAO and coordinating planned effort with the contract auditor. This includes?
L0:for reviewing contractor operations (see paragraph (d) of this section);

L1:(A) Preparing and maintaining an annual written cost monitoring plan
L1:(B) Maintaining an inventory of planned and completed CAO, Defense
L0:Contract Audit Agency (DCAA), and other Government reviews and audits in order to
L0:mitigate duplication of efforts;

L1:(C) Monitoring contractor direct and indirect rates and factors during the
L0:year, making comparisons to historical actual costs and to contractor proposed or
L0:negotiated forward pricing rates and factors, and providing rate recommendations
L0:based on their analysis;

L1:(D) Performing approved functional reviews of contractor activities, to
L0:include assisting Government personnel in obtaining access to pertinent contractor
L0:policies, procedures, and related data;

L1:(E) Advising the ACO and CAO management of corrective action
L0:recommended to improve inefficient or uneconomical contractor conditions, policies, or
L0:practices, to include preparing, for the ACO's consideration when appropriate, a Notice
L0:of Intent to Disallow or Not Recognize Costs;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
L0:Defense FAR Supplement (DFARS) Part 242
L0:contractor concerning cost performance stemming from all Government reports;

L1:(F) Continuously tracking the status of recommendations made to the
L1:(G) Keeping the contracting officer, program manager, contract auditor,
L0:and other responsible officials informed of issues affecting economical contract
L0:performance;
L0:identifiable to the contractor's functional centers of its cost control functions; and

L1:(H) Maintaining current organizational charts of the operations
L0:monitoring functions performed during the Government fiscal year.

L1:(I) Preparing a final cost monitoring report summarizing all of the cost
L1:(viii) The contract auditor is responsible for assisting the CMS by performing
L0:the portion of cost monitoring plan and related analyses that requires access to the
L0:contractor's financial and accounting records supporting the cost or pricing data. (This
L0:does not preclude the program manager, contracting officer, ACO, CMS, or other
L0:representatives from reviewing contractor records and data necessary to the
L0:performance of their duties.)

L1:(ix) Audit organizations, program offices, contracting activities, and any
L0:other DoD organizations with responsibility for reviewing contractor operations for the
L0:purpose of monitoring contractor policies, procedures, and practices to control costs,

L0:must submit to the CMS?

L0:reviews, and audits to be performed at cost monitoring locations; and

L1:(A) An annual schedule of planned and tentative visits, oversight

L0:issuance.

L1:(B) Revisions to scheduled visits or audit plans, within 30 days of

L1:(x) Establish an annual cost monitoring plan for monitoring, reviewing,

L0:negotiating, and approving contractor's direct and indirect rates, business systems,

L0:corrective actions to deficient processes, and cost controls by coordinating the

L0:capabilities of the CAO, DCAA, and other Government representatives in an effort to

L0:reduce unreasonable, erroneous, or improper costs to Government contracts.

L1:(A) The plan should?

L0:over a period of five to ten years;

L1:(1) Provide coverage for each significant activity of the contractor

L1:(2) Provide coverage for contractor future years dependent on the

L0:period of forward pricing years the contractor proposes and the expected length of

L0:executed Government programs;

L0:progresses; and

L1:(3) Be updated to reflect changed conditions as the year

L0:should be explained in the final cost monitoring report.

L1:(4) Be consistent with the approved schedule, and any deviations

L1:(B) The plan must identify the organizations having the primary

L0:responsibility for performing the reviews.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L1:(C) The plan should include reviews required by the ACO and DFARS.

L0:Reviews will be performed by the assigned organization during the coordination phase

L0:of the cost monitoring plan, except when DFARS makes a specific organizational

L0:assignment. For example, 244.301 makes the ACO responsible for leading contractor

L0:purchasing system reviews and 215.305-70(c)(3) makes the DCAA auditor responsible

L0:for leading estimating system reviews on behalf of the ACO.

L1:(xi) The CAO selects the activities for the cost monitoring plan. DCAA will

L0:complete its annual audit plan independently and communicate the approved audit plan

L0:to ensure the most effective monitoring approach. To ensure all Government interests

L0:are considered in the selection, the CMS should invite CAO, DCAA, and other

L0:interested Government representatives to a meeting before the beginning of each

L0:Government fiscal year to identify and prioritize the areas to be reviewed during the

L0:coming year, to ensure a fully communicated Government cost monitoring plan.

L0:primary responsibility in the selection process?

L1:(A) The selection team should consider the following data and assign

L1:(1) Contractor forecasts for the coming years supporting direct and

L0:indirect costs by functional centers of its cost control system and the results of the latest

L0:survey performed of such systems;

L1:(2) Organizational charts for the contractor's entire operation;

L1:(3) Outline of the contractor's accounting system showing the flow

L0:of costs by function;

L0:attributable to the operations and cost accounts under consideration;

L1:(4) Determination of Government participation in the dollars

L1:(5) List of recent reviews and audits performed by CAO, DCAA,
L0:and other Government representatives; list should show outstanding weaknesses and
L0:deficiencies in the contractor's operations that will be considered for follow-up reviews
L0:or audits;

L1:(6) Evidence of contractor under or over staffing;

L1:(7) Significant departures from established contractor productivity
L0:standards;

L1:(8) Major financial variances from forecasts in prior years;

L1:(9) Evidences of idle or under-used capacity;
L0:organizations and identified to the CMS; and

L1:(10) Any visits or audit plans scheduled by other Government

L1:(11) Any other significant information or business changes which
L0:could have an adverse effect or cause a significant change to on the contractor?s
L0:management of contract costs.

L1:(B) The CMS should prioritize the plan to review contractor activity by
L0:considering?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
L0:Defense FAR Supplement (DFARS) Part 242

L1:(1) The extent of competition in awarded contracts;

L1:(2) The contractor's operating methods;

L1:(3) The nature of the work;

L1:(4) Acquisition cycle stage;

L1:(5) Business and industry practices;

L1:(6) Types of contracts involved;

L1:(7) Degree of technical and financial risk;

L1:(8) Previously reported findings and deficiencies;

L1:(9) Ratio of Government/commercial work;
L0:work and backlog; and

L1:(10) Significant changes in the level (dollars) of the contractor?s
L0:demonstrated.

L1:(11) The extent performance efficiencies have been previously

L1:(C) Submit and approve the cost monitoring plan as follows:
L0:plan to the ACO within 30 days after the first day of each fiscal year.

L1:(1) The local DCAA office will provide an approved annual audit
L0:head of the local CAO within 45 days after the first day of each fiscal year.

L1:(2) The CMS will submit an adequate cost monitoring plan to the

L1:(3) The head of the local CAO, or designee, will approve the
L0:annual cost monitoring plan within 15 days of an adequate submission. The head of the
L0:local CAO will ensure that adequate coordination of the cost monitoring plan was
L0:performed with the DCAA and other responsible Government representatives.
L0:with the cost monitoring plan.

L1:(D) Perform functional reviews and audits as scheduled in accordance
L0:information. Hold an exit conference at the conclusion of reviews.

L1:(1) Hold interim meetings with the contractor as necessary to clarify

L1:(2) Prepare reports at the conclusion of reviews. The ACO will

L0:determine whether a Government review or audit report will be provided to a contractor

L0:based on specific regulatory requirements or the impact to pending negotiations or

L0:litigation.

L1:(3) Prepare periodic reports on the results of the CMS analysis and

L0:monitoring of the contractors rates and factors, which should address the causes for

L0:significant deviations from historical and negotiated forward pricing rates and factors.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L1:(E) Prepare an annual cost monitoring report which is a culmination of

L0:the Government activities performed during the fiscal year in an effort to conduct and

L0:maintain a formal monitoring program of contractor policies, procedures, and practices

L0:for controlling costs charged to Government contracts. The report should?

L0:provides to the Government;

L1:(1) Provide a brief introduction of the contractor and the products it

L0:reporting period along with any deviations from the cost monitoring plan;

L1:(2) Summarize each review and audit completed during the

L0:newly reported deficiencies; and

L1:(3) Highlight open deficiencies, corrected deficiencies, and any

L1:(4) Include the current status of all final, billing, and forward pricing

L0:rates.

L0:reference.

L1:(5) Incorporate the final DCAA audit reports by summary and

L0:cost monitoring report within 60 days of the end of the Government fiscal year.

L2:(F) (1) The head of the local CAO, or designee, will approve the annual

L1:(2) Provide a copy of the approved report to the head of the local

L0:DCAA office within 15 days of approval.

L0:PGI 242.5?INDIRECT COST RATES

L0:PGI 242.505 Final indirect cost rates.

L0:PGI 242.505-1 Contracting officer determination procedure.

L1:(a) Applicability and responsibility.

L1:(1) When negotiations are conducted on a coordinated basis, individual

L0:administrative contracting officers are responsible for coordinating with the corporate

L0:administrative contracting officer to ensure consistency of cost determinations.

L0:PGI 242.8?PRODUCTION SURVEILLANCE AND REPORTING

L0:PGI 242.804 Assignment of criticality designator.

L0:PGI 242.804-70 Procedures

L1:(a) Contracting officers must?

L1:(1) Assign criticality designator A to items with a priority 01, 02, 03, or 06 (if

L0:emergency supply of clothing) under DoD Manual 4140.01, Volume 5, DoD Supply Chain

L0:Materiel Management Procedures: Delivery of Materiel; and

L1:(2) Ordinarily assign criticality designator C to unilateral purchase orders.

L1:(b) Only the contracting officer may change the assigned designator.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L0:PGI 242.804-71 Reporting requirements.

L1:(a) See DoDI 5000. 85, Major Capability Acquisition, for reporting requirements for

L0:defense technology projects and acquisition programs.

L2:(b)(i) Within four working days after receipt of the contractor's report, the CAO must

L0:provide the report and any required comments to the contracting officer and, unless

L0:otherwise specified in the contract, the inventory control manager.

L1:(ii) If the contractor's report indicates that the contract is on schedule and the CAO

L0:agrees, the CAO does not need to add further comments. In all other cases, the CAO must

L0:add comments and recommend a course of action.

L0:PGI 242.9?NOVATION AND CHANGE-OF-NAME AGREEMENTS

L0:PGI 242.902-70 Processing agreements.

L1:(a) For contracts awarded by the military departments, provide notices to the following

L0:addressees instead of individual contracting or contract administration offices:

L0:Army

L0:Navy

L0:usarmy.pentagon.hqda-asa-alt.list.saal-ps-staff@army.mil

L0:usn.pentagon.asstsecnavrdadc.mbx.pabt@us.navy.mil

L0:Air Force

L0:AFMC.PK.Workflow-02@us.af.mil

L0:National

L0:Aeronautics and

L0:Space

L0:Administration

L0:National Aeronautics and Space Administration

L0:ATTN: Office of Procurement, Program Operations Division

L0:300 E Street, SW

L0:Washington, DC 20546-0001

L1:(b) Lists of affected contracts accompanying a notice of successor in interest should

L0:include the information at FAR 42.903(e)(2).

L1:(c) Lists of affected contracts accompanying a notice of a name change should include

L0:the information at FAR 42.904(a)(3).

L1:(d) On notices sent to the addressees in paragraph (1) of this section, include a

L0:consolidated list for all subordinate contracting offices of the addressee.

L1:(e) Before making any substantial alterations or additions to the novation agreement

L0:format at FAR 42.903(i), coordinate with the addressees in paragraph (1) of this section that

L0:have contracts with the contractor. Resolve any objections before executing the agreement.

L1:(f) If the National Aeronautics and Space Administration (NASA) wants a separate

L0:agreement with the contractor, continue to process the agreement only for DoD.

L1:(g) In addition to the requirements of FAR 42.902(g) and PGI 204.3, make distribution

L0:to?

L1:(1) The physical address or a copy to the email addresses in paragraph (1) of this

L0:section; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L1:(2) The appropriate Military Surface Deployment and Distribution Command area

L0:command for agreements affecting contracts and basic agreements for storage and related

L0:services for personal property of military and civilian personnel ? two copies:

L0:Commander

L0:Eastern Area

L0:Military Surface Deployment

L0:and Distribution Command

L0:ATTN: MTE-LO

L0:Bayonne, NJ 07002

L0:Commander

L0:Western Area

L0:Military Surface Deployment

L0:and Distribution Command

L0:Oakland Army Base

L0:ATTN: MTW-LO

L0:Oakland, CA 94626

L1:(h) In addition to the distribution requirements of FAR 42.902(h)(4) and PGI 204.201-

L1:(1) Send two copies to the physical address or a copy to the email addresses in

L0:paragraph (1) of this section. The list of contracts may be confined to those issued by that

L0:department.

L1:(2) Do not send copies to NASA or the commands in paragraph (7)(ii) of this

L0:section. They will issue their own modifications.

L1:(i) The contracting officer responsible for execution of a change-of-name agreement

L0:(see FAR subpart 42.901) must submit the agreement to DLIS-SBB. If there are no current

L0:contracts, each contracting and contract administration office receiving notification of

L0:changes from the commercial entity must forward a copy of the change notice annotated

L0:with the CAGE code to DLIS-SBB unless the change notice indicates that DLIS-SBB

L0:already has been notified.

L0:PGI 242.70? CONTRACTOR BUSINESS SYSTEMS

L0:PGI 242.7000 Contractor business system deficiencies.

L1:(b) Determination to withhold payments. The following are sample formats for written

L0:notifications of contracting officer determinations to initiate payment withholding, reduce

L0:payment withholding, and discontinue payment withholding in accordance with the clause at

L0:DFARS 252.242-7998, Contractor Business Systems:

L1:(1) Use this sample format for written final determinations to implement payment

L0:withholding:

L0:Payment Withholding

L1:(i) The purpose of this final determination is to disapprove your [identify the

L0:contractor business system(s)] and implement payment withholding per the terms of the

L0:clause at DFARS 252.242-7998, Contractor Business Systems.

L1:(ii) It is my final determination that XXX System(s) contains the following

L0:material weaknesses:

L0:--[list all material weaknesses]

L1:(iii) Effective immediately, five percent (or a lesser percentage if five percent will exceed the withhold limitations in the clause at DFARS 252.242-7998) of each request for payment under the contracts in Attachment A will be withheld as described below for material weaknesses in XXX system. Upon receipt of an acceptable corrective action plan Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42 Defense FAR Supplement (DFARS) Part 242 and my determination that this corrective action plan is being effectively implemented, I will issue a notification with respect to reducing the percentage being withheld to two percent until I determine that all material weaknesses, as identified in this final determination, have been corrected. Failure to follow the accepted corrective action plan will result in an increase in the percentage withheld against each payment under this contract to five percent (or a lesser percentage if five percent will exceed the withhold limitations in DFARS 252.242-7998). [Repeat this paragraph, as necessary, if multiple withholds are being applied to multiple systems in accordance with 252.242-7998(d)]

L1:(iv) For payments under cost, labor-hour, or time-and-material contracts: The Contractor must apply a five percent (or a lesser percentage if five percent will exceed the withhold limitations in DFARS 252.242-7998) withhold to the amount being billed and prepare a cost voucher in Wide Area WorkFlow (WAWF) for the net amount due. The Contractor must show the amount withheld on the current billing, as well as the cumulative amount withheld to date on this contract in accordance with DFARS clause 252.242-7998, in the Comments block of the Miscellaneous Info Tab in WAWF.

L1:(v) For progress payments: The Contractor must prepare the request in WAWF without applying any withhold percentage. The Contracting Officer will reduce the approved amount by five percent (or a lesser percentage if five percent will exceed the withhold limitations in DFARS 252.242-7998) and record the amount being withheld on the progress payment request, as well the cumulative amount withheld on this contract in accordance with DFARS clause 252.242-7998, in the Comments block of the Miscellaneous Info Tab in **L0:WAWF.**

L1:(vi) For performance-based payments: The Contractor must prepare the request in WAWF without applying any withhold percentage to the performance based payment event schedule amounts. The Contracting Officer will reduce the amount approved by five percent (or a lesser percentage if five percent will exceed the withhold limitations in DFARS 252.242-7998) and record the amount being withheld on the performance based payment as well as the cumulative amount withheld on this contract in accordance with the DFARS clause 252.242-7998 in the Comments block of the of the Miscellaneous Info Tab in **L0:WAWF.**

L1:(2) Use this sample format for determinations to reduce payment withholding:
Reduction of Temporary Payment Withholding

L1:(i) The purpose of this determination is to reduce the payment withholding percentage per the terms of the clause at DFARS 252.242-7998, Contractor Business Systems, as a result of receiving an acceptable corrective action plan from the contractor, dated YYYY/MM/DD, for resolving deficiencies in its XXX system(s) as identified in the Contracting Officer's determination, dated YYYY/MM/DD. This reduction is prospective and previous amounts withheld will not be reduced or released at this time.

L1:(ii) Effective immediately, two percent of each request for payment under this contract will be withheld as described below. The two percent being withheld will remain in effect until the Contracting Officer determines that the Contractor has corrected all material weaknesses as directed by the Contracting Officer's determination. Failure to follow the accepted corrective action plan will result in an increase in the percentage withheld against each payment under this contract to five percent (or a lesser percentage if five percent will exceed the withhold limitations in DFARS 252.242-7998).

L1:(iii) For payments under cost, labor-hour, or time-and-material contracts: The

Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

Defense FAR Supplement (DFARS) Part 242

Contractor must apply a two percent withhold to the amount being billed and prepare a cost

voucher in Wide Area WorkFlow (WAWF) for the net amount due. The Contractor must

show the amount withheld on the current billing, as well as the cumulative amount withheld

to date on this contract in accordance with DFARS clause 252.242-7998, in the Comments

block of the Miscellaneous Info Tab in WAWF.

L1:(iv) For progress payments: The Contractor must prepare the request in

WAWF without applying any withhold percentage. The Contracting Officer will reduce the

approved amount by two percent and record the amount being withheld on the progress

payment request, as well the cumulative amount withheld on this contract in accordance

with DFARS clause 252.242-7998, in the Comments block of the Miscellaneous Info Tab in

WAWF.

L1:(v) For performance-based payments: The Contractor must prepare the

request in WAWF without applying any withhold percentage to the performance-based

payment event schedule amounts. The Contracting Officer will reduce the amount approved

by two percent and record the amount being withheld on the performance-based payment

as well as the cumulative amount withheld on this contract in accordance with the DFARS

clause 252.242-7998 in the Comments block of the Miscellaneous Info Tab in WAWF.

L1:(3) Use the sample format below if payment withholding is discontinued pending

receipt of auditor or functional specialist verification and based on evidence that the

contractor has corrected all material weaknesses, in accordance with the clause at DFARS

252.242-7998, Contractor Business Systems:

Discontinuation of Payment Withholding Pending Verification

L1:(i) The purpose of this determination is to approve your [identify system(s)]

pending verification, discontinue the payment withhold as identified in the Contracting

Officer's determination dated YYYY/MM/DD, and release previous amounts withheld on the

contracts in Attachment A, in accordance with DFARS clause 252.242-7998, Contractor

Business Systems.

L1:(ii) The discontinuation of the payment withhold is made pending receipt of

verification and based on my review of the evidence submitted by the Contractor that all the

Contractor's system(s) material weaknesses identified in the Contracting Officer's

determination dated YYYY/MM/DD have been corrected.

L1:(iii) The Contractor is authorized to submit a bill in the amount of \$XXXXXXXXX.

The billed amount should be submitted on the same type of invoice as the withhold was

originally taken, as appropriate.

L1:(4) Use the sample format below if payment withholding is discontinued after auditor

L0:or functional specialist verification that the contractor has corrected all material weaknesses,
L0:in accordance with the clause at DFARS 252.242-7998, Contractor Business Systems:
L0:Discontinuation of Payment Withholding
L1:(i) The purpose of this determination is to approve your [identify system(s)],
L0:discontinue the payment withhold as identified in the Contracting Officer's determination
L0:dated YYYY/MM/DD, and release previous amounts withheld on the contracts in Attachment
L0:A, in accordance with DFARS clause 252.242-7998, Contractor Business Systems.
L1:(ii) The discontinuation of the payment withhold is made based on verification
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
L0:Defense FAR Supplement (DFARS) Part 242
L0:that all the Contractor's system(s) material weaknesses identified in the Contracting Officer's
L0:final determination dated YYYY/MM/DD have been corrected.
L1:(iii) The Contractor is authorized to submit a bill in the amount of \$XXXXXXXX.
L0:The billed amount should be submitted on the same type of invoice as the withhold was
L0:originally taken, as appropriate.
L0:PGI 242.71?Voluntary refunds
L0:PGI 242.7100 General.
L1:(1) A voluntary refund may be solicited (requested by the Government) or unsolicited.
L1:(i) Generally, request voluntary refunds only after determining that no contractual
L0:remedy is readily available to recover the amount sought.
L1:(ii) Acceptance of unsolicited refunds does not prejudice remedies otherwise
L0:available to the Government.
L1:(2) Before soliciting a voluntary refund or accepting an unsolicited one, the contracting
L0:officer should have legal counsel review the contract and related data to?
L1:(i) Confirm that there are no readily available contractual remedies; and
L1:(ii) Advise whether the proposed action would jeopardize or impair the
L0:Government's rights.
L1:(3) Request voluntary refunds only when?
L1:(i) The contracting officer concludes that the contractor overcharged under a
L0:contract, or inadequately compensated the Government for the use of Government-owned
L0:property, or inadequately compensated the Government in the disposition of contractor
L0:inventory; and
L1:(ii) Retention of the amount in question by the contractor or subcontractor would be
L0:contrary to good conscience and equity.
L1:(4) Do not solicit voluntary refunds without approval of the head of the contracting
L0:activity, or as provided in department/agency regulations.
L1:(5) Voluntary refunds may be requested during or after contract performance.
L1:(6) A contract modification, rather than a check, is the preferred means of effecting a
L0:solicited or unsolicited refund transacted before final payment.
L1:(i) For modifications, adjust the price for the refund and credit the refund to the
L0:applicable appropriation cited in the contract.
L1:(ii) For checks?
L1:(A) Advise the contractor to?
L1:(1) Make the check payable to the agency that awarded the contract;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L1:(2) Forward the check to the contracting officer or, when the contract is

L0:assigned to another office for administration, to that office; and

L1:(3) Include a letter with the check?

L1:(i) Identifying it as a voluntary refund;

L1:(ii) Giving the contract number involved; and

L1:(iii) Where possible, giving the appropriation and account number to

L0:be credited; and

L1:(B) Forward the check to the office responsible for control of funds.

L0:PGI 242.72?CONTRACTOR MATERIAL MANAGEMENT AND ACCOUNTING SYSTEM

L0:PGI 242.7203 Review procedures.

L1:(c) Disposition of findings.

L1:(2) Initial determination.

L2:(ii)(A) Within 30 days of receiving the report, if the contracting officer makes a

L0:determination that there is a material weakness, the contracting officer should provide an

L0:initial determination of material weaknesses and a copy of the report to the contractor and

L0:require the contractor to submit a written response.

L1:(C) Evaluation of contractor's response. Within 30 days of receiving the

L0:contractor's response, the contracting officer, in consultation with the auditor or cognizant

L0:functional specialist, should evaluate the contractor's response and make a final

L0:determination.

L1:(3) Final determination.

L2:(ii)(A) Monitoring contractor's corrective action. The contracting officer, with the

L0:assistance of the auditor, must monitor the contractor's progress in correcting material

L0:weaknesses and deficiencies. If the contractor fails to make adequate progress, the

L0:contracting officer must take whatever action is necessary to ensure that the contractor

L0:corrects the weaknesses and deficiencies. Actions the contracting officer may take include:

L0:disapproving the contractor's MMAS; bringing the issue to the attention of higher level

L0:management; recommending non-award of potential contracts, as applicable; and for

L0:material weaknesses, implementing or increasing the withholding in accordance with

L0:252.242-7998, Contractor Business Systems.

L1:(B) Correction of material weaknesses.

L1:(1) When the contractor notifies the contracting officer that the

L0:contractor has corrected the material weaknesses, the contracting officer must request that

L0:the auditor review the correction to determine if the weaknesses and deficiencies have been

L0:resolved.

L0:corrected the weaknesses and deficiencies.

L1:(2) The contracting officer must determine if the contractor has

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L1:(3) If the contracting officer determines the contractor has corrected

L0:the weaknesses and deficiencies, send the contracting officer's notification to the auditor;

L0:payment office; appropriate action officers responsible for reporting past performance at the

L0:requiring activities; and each contracting and contract administration office having

L0:substantial business with the contractor as applicable.

L0:PGI 242.73--CONTRACTOR INSURANCE/PENSION REVIEW

L0:PGI 242.7303 Responsibilities.

L1:(1) The ACO is responsible for?

L1:(i) Determining the need for a CIPR in accordance with the procedures at DFARS

L0:242.7302;

L1:(ii) Requesting and scheduling the reviews with the appropriate DCMA activity;

L1:(iii) Notifying the contractor of the proposed date and purpose of the review, and

L0:obtaining any preliminary data needed by the DCMA insurance/pension specialist or the

L0:DCAA auditor;

L1:(iv) Reviewing the CIPR report, advising the contractor of the recommendations

L0:contained within the report, considering contractor comments, and rendering a decision

L0:based on those recommendations;

L1:(v) Providing other interested contracting officers copies of documents related to the

L0:CIPR;

L1:(vi) Ensuring adequate follow-up on all CIPR recommendations; and

L1:(vii) Performing contract administration responsibilities related to Cost Accounting

L0:Standards administration as described in FAR Subparts 30.2 and 30.6.

L1:(2) The DCMA insurance/pension specialist is responsible for?

L1:(i) Issuing a technical report on the contractor's insurance/pension plans for

L0:incorporation into the final CIPR report based on an analysis of the contractor's pension

L0:plans, insurance programs, and other related data;

L1:(ii) Leading the team that conducts the review. Another individual may serve as the

L0:team leader when both the insurance/pension specialist and that individual agree. The team

L0:leader is responsible for?

L1:(A) Maintaining complete documentation for CIPR reports;

L1:(B) To the extent possible, resolving discrepancies between audit reports and

L0:CIPR draft reports prior to releasing the final CIPR report;

L1:(C) Preparing and distributing the final CIPR report;

L1:(D) Providing the final audit report and/or the insurance/pension specialist's

L0:report as an attachment to the CIPR report; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L1:(E) Preparing a draft letter for the administrative contracting officer's use in

L0:notifying the contractor of CIPR results; and

L1:(iii) When requested, advising administrative contracting officers and other

L0:Government representatives concerning contractor insurance/pension matters.

L1:(3) The DCAA auditor is responsible for?

L1:(i) Participating as a member of the CIPR team or serving as the team leader (see

L0:paragraph (2)(ii) of this section);

L1:(ii) Issuing an audit report for incorporation into the final CIPR report based on an

L0:analysis of the contractor's books, accounting records, and other related data; and

L1:(iii) Performing contract audit responsibilities related to Cost Accounting Standards

L0:administration as described in FAR Subparts 30.2 and 30.6.

L0:PGI 242.74?TECHNICAL REPRESENTATION AT CONTRACTOR FACILITIES

L0:PGI 242.7401 Procedures.

L1:(1) When the program, project, or system manager determines that a technical

L0:representative is required, the manager must issue a letter of intent to the contract

L0:administration office commander listing the assignment location, starting and ending

L0:assignment dates, technical duties assigned, delegated authority, and support required from

L0:the contract administration office. Any issues regarding the assignment of a technical

L0:representative should be resolved promptly. However, final decision on the assignment

L0:remains with the program manager. Issues regarding the assignment of technical duties

L0:that cannot be resolved between the program office and the on-site DoD contract

L0:administration office will be elevated.

L1:(2) The program, project, or system manager will furnish the designated technical

L0:representative a letter of assignment of delegated technical duties, with copies to the

L0:contract administration office, the contracting officer, and the contractor, at least 30 days

L0:before the assignment date (or termination date). Any changes to the requirements of the

L0:assignment letter will be made by a new letter of intent and processed in accordance with

L0:paragraph (1) of this section.

L1:(3) The contract administration office normally provides the technical representative with

L0:office space, equipment, supplies, and part-time clerical support. The program, project, or

L0:system manager provides supervision, technical direction, administrative services (e.g., pay,

L0:travel, maintenance of personnel records), and, when required, full-time clerical support.

L1:(4) The program manager or designee and the contract administration office, at the local

L0:level, must negotiate a memorandum of agreement (MOA) delineating their functional

L0:administrative interrelationships, with annual updates as necessary. The agreements may

L0:be included in an existing MOA, if one exists, or as a separate MOA.

L1:(5) The technical representative must keep the contract administration office

L0:commander fully informed of matters discussed with the contractor. The contract

L0:administration office must also keep the technical representative fully informed of contractor

L0:discussions that relate to technical matters within the purview of the technical

L0:representative's assigned duties.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L0:PGI 242.75?CONTRACTOR ACCOUNTING SYSTEMS AND RELATED CONTROLS

L0:PGI 242.7502 Policy.

L1:(d) Disposition of findings.

L1:(3) Final determination.

L2:(ii)(A) Monitoring contractor's corrective action. In collaboration with the auditor,

L0:monitor the contractor's progress in correcting material weaknesses and deficiencies. If the

L0:contractor fails to make adequate progress, take whatever action is necessary to ensure that

L0:the contractor corrects the material weaknesses and deficiencies. Potential actions include:

L0:disapproving the system; bringing the issue to the attention of higher level management, as

L0:applicable; and for material weaknesses, implementing or increasing the withholding in

L0:accordance with 252.242-7998, Contractor Business Systems.

L1:(B) Correction of material weaknesses.

L1:(1) When the contractor notifies the contracting officer that the

L0:contractor has corrected the material weaknesses; request that the auditor review the

L0:correction to determine if the weaknesses and deficiencies have been resolved.

L1:(2) Determine if the contractor has corrected the material weaknesses.

L1:(3) If the contracting officer determines the contractor has corrected the

L0:material weaknesses, send the contracting officer's notification to the auditor; payment

L0:office; appropriate action officers responsible for reporting past performance at the requiring

L0:activities; and each contracting and contract administration office having substantial

L0:business with the contractor as applicable.

L1:(g) Mitigating the risk of material weaknesses and system deficiencies on specific

L0:proposals.

L1:(2) When identified deficiencies impact negotiations of a proposal, consider the

L0:following taking alternative actions, including?

L1:(i) Allowing the contractor additional time to correct the deficiency and submit a

L0:corrected proposal;

L1:(ii) Considering another type of contract;

L1:(iii) Using additional cost analysis techniques to determine the

L0:reasonableness of the cost elements affected by the deficiency;

L1:(iv) Reducing the negotiation objective for profit or fee; or

L1:(v) Adding a contract (reopener) clause that provides for adjustment of the

L0:contract amount after award.

L1:(3) When incorporating a contract reopener clause, negotiate price adjustments

L0:required by the clause. A contract reopener clause based upon a deficiency should?

L1:(i) Clearly identify the amounts and items that are in question at the time of

L0:negotiation;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42

L0:Defense FAR Supplement (DFARS) Part 242

L1:(ii) Indicate a specific time or subsequent event by which the contractor will

L0:submit a supplemental proposal, including certified cost or pricing data, identifying the cost

L0:impact adjustment necessitated by the deficient accounting system;

L1:(iii) Provide for the contracting officer to adjust the contract price unilaterally if

L0:the contractor fails to submit the supplemental proposal; and

L1:(iv) Provide that failure of the Government and the contractor to agree to the

L0:price adjustment must be a dispute under the Disputes clause.

L0:PGI 242.76?POSTAWARD ORIENTATION

L0:PGI 242.7602 Selecting contracts for postaward orientation.

L0:When deciding whether postaward orientation is necessary and, if so, what form it must

L0:take, consider the?

L1:(a) Nature and extent of the preaward survey and any other prior discussions with the

L0:contractor;

L1:(b) Type, value, and complexity of the contract;

L1:(c) Complexity and acquisition history of the product or service;

L1:(d) Requirements for spare parts and related equipment;

L1:(e) Urgency of the delivery schedule and relationship of the product or service to critical

L0:programs;

L1:(f) Length of the planned production cycle;

L1:(g) Extent of subcontracting;

L1:(h) Contractor's performance history and experience with the product or service;
L1:(i) Contractor's status, if any, as a small business, small disadvantaged, women-owned,
L0:veteran-owned, HUBZone, or service-disabled veteran-owned small business concern;
L1:(j) Contractor's performance history with small, small disadvantaged, women-owned,
L0:veteran-owned, HUBZone, and service-disabled veteran-owned small business
L0:subcontracting programs;
L1:(k) Safety precautions required for hazardous materials or operations; and
L1:(l) Complex financing arrangements, such as progress payments, advance payments, or
L0:guaranteed loans.
L0:PGI 242-7603-1 Postaward conference arrangements.
L1:(a) The contracting officer is responsible for?
L1:(1) Establishing the time and place of the conference;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 42
L0:Defense FAR Supplement (DFARS) Part 242
L1:(2) Preparing the agenda, when necessary;
L1:(3) Notifying appropriate Government representatives (e.g., contracting/contract
L0:administration office) and the contractor;
L1:(4) Designating or acting as the chairperson;
L1:(5) Conducting a preliminary meeting of Government personnel; and
L1:(6) Preparing a summary report of the conference.
L1:(b) When the contracting office initiates a conference, the arrangements may be made
L0:by that office or, at its request, by the contract administration office.
L0:PGI 242.7603-2 Postaward conference procedure.
L2:(c)(1) The chairperson of the conference conducts the meeting. Unless a contract
L0:change is contemplated, emphasize that it is not the purpose of the meeting to change the
L0:contract.
L1:(2) The contracting officer may make commitments or give directions within the
L0:scope of the contracting officer's authority and must put in writing and sign any commitment
L0:or direction, whether or not it changes the contract.
L1:(3) Any change to the contract that results from the postaward conference must be
L0:made only by a contract modification referencing the applicable terms of the contract.
L0:Participants without authority to bind the Government must not take action that in any way
L0:alters the contract.
L1:(4) The chairperson develops a postaward conference report that reflects all the
L0:information and guidance provided to the contractor during the conference (see PGI
L0:242.7603-3).
L0:PGI 242.7603-3 Postaward conference report.
L1:(a) The chairperson prepares and signs a report of the postaward conference.
L1:(b) Include all items discussed, including areas requiring resolution, controversial
L0:matters, the names of the participants assigned responsibility for further actions, and the due
L0:dates for the actions.
L1:(c) The chairperson furnishes copies of the report to the contracting office, the contract
L0:administration office, the contractor, and others who require the information.

PART 43

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

243.206-70 Notification of substantial impact on employment

Status: active

L0:243.206-70 Notification of substantial impact on employment.

L0:The Secretary of Defense is required to notify the Secretary of Labor if a

L0:modification of a major defense contract or subcontract will have a substantial

L0:impact on employment. The clause at 252.249-7002 requires that the contractor

L0:notify its employees, its subcontractors, and State and local officials when a contract

L0:modification will have a substantial impact on employment.

243.270 Identification of foreign military sale (FMS) requirements

Status: active

L0:243.270 Identification of foreign military sale (FMS) requirements.

L0:Follow the procedures at PGI 243.270 for identifying contract modifications that

L0:add FMS requirements.

243.271 Obligation or deobligation of funds

Status: active

L0:243.271 Obligation or deobligation of funds.

L0:Follow the procedures at PGI 243.271 when obligating or deobligating funds.

243.272 Application of modifications

Status: active

L0:243.272 Application of modifications.

L0:Follow the procedures at 204.201-72 for determining the sequence for application of

L0:modifications to a contract or order.

243.304 Administration

Status: active

L0:243.304 Administration.

L0:Follow the procedures at PGI 243.304 for administration of change orders.

243.370 Definitization of change orders

Status: active

L0:243.370 Definitization of change orders.

243.370-1 Scope

Status: active

L0:243.370-1 Scope.

L1:(a) This subsection applies to unpriced change orders with an estimated value
L0:exceeding \$5 million.

L1:(b) Unpriced change orders for foreign military sales and special access
L0:programs are not subject to this subsection, but the contracting officer must apply
L0:the policy and procedures to them to the maximum extent practicable. If the
L0:contracting officer determines that it is impracticable to adhere to the policy and
L0:procedures of this subsection for an unpriced change order for a foreign military
L0:sale or a special access program, the contracting officer must provide prior notice,
L0:through agency channels, to the Office of the Principal Director, Defense Pricing,
L0:Contracting, and Acquisition Policy, Contract Policy via email at osd.pentagon.ousd-a-s.mbx.dpc-cp@mail.mil.

243.370-2 Price ceiling

Status: active

L0:243.370-2 Price ceiling.

L0:Unpriced change orders must include a not-to-exceed price.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 43

L0:Defense FAR Supplement (DFARS) Part 243

243.370-3 Definitization schedule

Status: active

L0:243.370-3 Definitization schedule.

L1:(a) Unpriced change orders must contain definitization schedules that provide
L0:for definitization by the earlier of?

L1:(1) The date that is 180 days after issuance of the change order (this date
L0:may be extended but may not exceed the date that is 180 days after the contractor
L0:submits a qualifying proposal); or

L1:(2) The date on which the amount of funds obligated under the change order
L0:is equal to more than 50 percent of the not-to-exceed price.

L1:(b) Submission of a qualifying proposal in accordance with the definitization
L0:schedule is a material element of the contract. If the contractor does not submit a
L0:timely qualifying proposal, the contracting officer may suspend or reduce progress
L0:payments under FAR 32.503-6, or take other appropriate action.

243.370-4 Limitations on obligations

Status: active

L0:243.370-4 Limitations on obligations.
L1:(a) The Government must not obligate more than 50 percent of the not-to-exceed
L0:price before definitization. However, if a contractor submits a qualifying proposal
L0:before the Government obligates 50 percent of the not-to-exceed price, the
L0:Government may increase the limitation on obligations before definitization to no
L0:more than 75 percent (see PGI 232.102-70 for coverage on provisional delivery
L0:payments).
L1:(b) Obligations should be consistent with the contractor's requirements for the
L0:undefinitized period.

243.370-5 Exceptions

Status: active

L0:243.370-5 Exceptions.
L1:(a) The limitations in 243.370-2, 243.370-3, and 243.370-4 do not apply to
L0:unpriced change orders for the purchase of initial spares.
L1:(b) The limitations in 243.370-4(a) do not apply to unpriced change orders for
L0:ship construction and ship repair.
L1:(c) The head of the agency may waive the limitations in 243.370-2, 243.370-3,
L0:and 243.370-4 for unpriced change orders if the head of the agency determines that
L0:the waiver is necessary to support?
L1:(1) A contingency operation; or
L1:(2) A humanitarian or peacekeeping operation.

243.370-6 Allowable Profit

Status: active

L0:243.370-6 Allowable Profit.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 43
L0:Defense FAR Supplement (DFARS) Part 243
L0:When the final price of an unpriced change order is negotiated after completion
L0:of a substantial portion of the required performance, the head of the contracting
L0:activity must ensure the profit allowed reflects?
L1:(a) Any reduced cost risk to the contractor for costs incurred during contract
L0:performance before negotiation of the final price;

L1:(b) Any reduced cost risk to the contractor for costs expected to be incurred
L0:during performance of the remainder of the contract; and
L1:(c) The extent to which costs have been incurred prior to definitization of the
L0:unpriced change order (see 215.404). The risk assessment must be documented in
L0:the price negotiation memorandum.

243.370-7 Plans and reports

Status: active

L0:243.370-7 Plans and reports.
L0:To provide for enhanced management and oversight of unpriced change orders,
L0:departments and agencies must?
L1:(a) Include in the Consolidated Undefinitized Contract Action (UCA)
L0:Management Plan required by 217.7405, the actions planned and taken to ensure
L0:that unpriced change orders are definitized in accordance with this subsection; and
L1:(b) Include in the Consolidated UCA Management Report required by 217.7405,
L0:each unpriced change order with an estimated value exceeding \$5 million.

243.371 for an example

Status: active

L0:243.371 for an example.
L1:(c) The certification required by 10 U.S.C. 3862(a), as implemented in the clause
L0:at 252.243-7002 , is different from the certification required by 41 U.S.C. 7103,
L0:Disputes. If the contractor has certified a request for equitable adjustment in
L0:accordance with 10 U.S.C. 3862(a), and desires to convert the request to a claim
L0:under the Contract Disputes statute, the contractor must certify the claim in
L0:accordance with FAR subpart 33.2.

243.305 Contract clauses

Status: active

L0:243.305 Contract clauses.

243.305-70 Pricing of contract modifications

Status: active

L0:243.305-70 Pricing of contract modifications.
L0:Insert the clause at 252.243-7001, Pricing of Contract Modifications, in solicitations
L0:and contracts when anticipating and using a fixed price type contract.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 43
L0:Defense FAR Supplement (DFARS) Part 243

243.305-71 Requests for equitable adjustment

Status: active

L0:243.305-71 Requests for equitable adjustment.

L0:Insert the clause at 252.243-7002, Requests for Equitable Adjustment, in

L0:solicitations and contracts, including solicitations and contracts using FAR part 12

L0:procedures for the acquisition of commercial products and commercial services, that

L0:are estimated to exceed the simplified acquisition threshold.

243.305-72 Unpriced change orders

Status: active

L0:243.305-72 Unpriced change orders.

L0:Insert the clauses prescribed at 217.7406 for unpriced change orders with an

L0:estimated value exceeding \$5 million.

252.243-7000 Reserved

Status: active

L0:252.243-7000 Reserved.

252.243-7001 Pricing of contract modifications

Status: active

L0:252.243-7001 Pricing of contract modifications.

L0:As prescribed in 243.305-70, use the following clause:

L0:PRICING OF CONTRACT MODIFICATIONS (DEC 1991)

L0:When costs are a factor in any price adjustment under this contract, the contract

L0:cost principles and procedures in FAR part 31 and DFARS part 231, in effect on the

L0:date of this contract, apply.

L0:(End of clause)

252.243-7002 Requests for Equitable Adjustment

Status: active

L0:252.243-7002 Requests for Equitable Adjustment.

L0:As prescribed in 243.305-71, use the following clause:

L0:REQUESTS FOR EQUITABLE ADJUSTMENT (DEC 2022)

L1:(a) The amount of any request for equitable adjustment to contract terms shall

L0:accurately reflect the contract adjustment for which the Contractor believes the

L0:Government is liable. The request shall include only costs for performing the

L0:change, and shall not include any costs that already have been reimbursed or that

L0:have been separately claimed. All indirect costs included in the request shall be

L0:properly allocable to the change in accordance with applicable acquisition

L0:regulations.

L1:(b) In accordance with 10 U.S.C. 3862(a), any request for equitable adjustment

L0:to contract terms that exceeds the simplified acquisition threshold shall bear, at the

L0:time of submission, the following certificate executed by an individual authorized to

L0:certify the request on behalf of the Contractor:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 43

L0:Defense FAR Supplement (DFARS) Part 243

L0:I certify that the request is made in good faith, and that the supporting

L0:data are accurate and complete to the best of my knowledge and belief.

L0:(Official?s Name)

L1:(Title)

L1:(c) The certification in paragraph (b) of this clause requires full disclosure of all

L0:relevant facts, including?

L1:(1) Certified cost or pricing data if required in accordance with subsection

15.403-4 of the Federal Acquisition Regulation (FAR); and

Status: active

L0:15.403-4 of the Federal Acquisition Regulation (FAR); and

L1:(2) Data other than certified cost or pricing data, in accordance with

L0:subsection 15.403-3 of the FAR, including actual cost data and data to support any

L0:estimated costs, even if certified cost or pricing data are not required.

L1:(d) The certification requirement in paragraph (b) of this clause does not apply

L0:to?

L1:(1) Requests for routine contract payments; for example, requests for

L0:payment for accepted supplies and services, routine vouchers under a cost-

L0:reimbursement type contract, or progress payment invoices; or

L1:(2) Final adjustment under an incentive provision of the contract.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 43

L0:Defense FAR Supplement (DFARS) Part 243

L0:PGI 243.2?CONTRACT MODIFICATIONS

L0:PGI 243.2?GENERAL

L0:PGI 243.270 Identification of foreign military sale (FMS) requirements.

L0:When adding FMS requirements using a contract modification?

L1:(1) Clearly indicate ?FMS Requirement? on the front of the modification; and

L1:(2) Refer to each FMS case identifier code by line/subline item number within the

L0:modification, e.g., FMS Case Identifier GY-D-DCA.

L0:PGI 243.271 Obligation or deobligation of funds.

L0:Include sufficient information in each contract modification to permit the paying office

L0:to readily identify the changes for each contract line and subline item.

L1:(1) Include the information under the heading ?Summary for the Payment Office?

L0:in?

L1:(i) Section G, Contract Administration Data (Uniform Contract Format); or

L1:(ii) The contract schedule (Simplified Contract Format).

L1:(2) The information normally should contain?

L1:(i) The amount of funds obligated by prior contract actions, to include?

L1:(A) The total cost and fee if a cost-type contract;

L1:(B) The target fee at time of contract award if a cost-plus-incentive-fee

L0:contract;

L1:(C) The base fee if a cost-plus-award-fee contract; or

L1:(D) The target price and target profit if a fixed-price incentive contract;

L1:(ii) The amount of funds obligated or deobligated by the instant modification,

L0:categorized by the types of contracts specified in paragraph (2)(i) of this section; and

L1:(iii) The total cumulative amount of obligated or deobligated funds, categorized

L0:by the types of contracts specified in paragraph (2)(i) of this section.

L0:PGI 243.3?CHANGE ORDERS

L0:PGI 243.304 Administration.

L1:(1) Whenever practicable, provide advance notice of a proposed change order to

L0:the administrative contracting officer (ACO).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 43

L0:Defense FAR Supplement (DFARS) Part 243

L1:(i) The ACO must review the proposed change order to ensure compatibility

L0:with the status of performance.

L1:(ii) If the contractor has progressed beyond the effective point specified in the

L0:proposed change order, the ACO must determine the earliest practical point at which

L0:the change order could be made effective and must advise the contracting officer.

L1:(2) If a change order has been issued and the effective date has been determined

L0:to be impracticable, the contracting officer must?

L1:(i) Issue another change order to correct, revise, or supersede the first change

L0:order; then

L1:(ii) Definitize by supplemental agreement citing both change orders.

L0:PGI 243.371 Certification of requests for equitable adjustment.

L1:(b) For example, a request for equitable adjustment that involves both an increase

L0:of \$100,000 and a decrease of \$105,000 has an absolute value of \$205,000 (\$100,000

L0:+ \$105,000, regardless of whether the amounts are plus or minus), which exceeds the

L0:simplified acquisition threshold.

PART 44

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

244.201 Consent to subcontracts and requirements for advance notice

Status: active

L0:244.201 Consent to subcontracts and requirements for advance notice.

244.201-1 Consent requirements

Status: active

L0:244.201-1 Consent requirements.

L1:(a) In accordance with section 824 of Pub. L. 115-232, notwithstanding the

L0:requirements in FAR 44.201-1(a), the contracting officer will not withhold consent to

L0:subcontract without the written approval of the program manager, or comparable

L0:requiring activity official exercising program management responsibilities, if the

L0:contractor has an approved purchasing system.

L1:(i) See PGI 244.201-1(i) for considerations when contracting for information

L0:technology, whether as a service or as a supply, that is a covered system or covered item

L0:of supply as defined at 239.7301.

244.201-3 Contracting officer?s responsibilities

Status: active

L0:244.201-3 Contracting officer?s responsibilities.

L0:See PGI 244.201-3 for considerations when reviewing a contractor?s request to

L0:subcontract.

244.301 Contractor?s purchasing systems reviews

Status: active

L0:244.301 Contractor?s purchasing systems reviews.

244.301-1 Objective

Status: active

L0:244.301-1 Objective.

L0:The administrative contracting officer (ACO) is responsible for initiating reviews of the
L0:contractor's purchasing systems, but other organizations may request that the ACO
L0:initiate such reviews.

244.301-2 Requirements

Status: active

L0:244.301-2 Requirements.
L2:(a)(1) The ACO will determine the need for a CPSR if a contractor's sales to the
L0:Government are expected to exceed \$50 million during the next 12 months.

244.370 Other reviews

Status: active

L0:244.370 Other reviews.
L1:(a) Review the adequacy of rationale documenting commercial product or
L0:commercial service determinations to ensure compliance with the definition of
L0:commercial product? or commercial service? in FAR 2.101.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 44
L0:Defense FAR Supplement (DFARS) Part 244
L1:(b) Review the adequacy of the contractor's counterfeit electronic part detection and
L0:avoidance system under DFARS 252.246-7007, Contractor Counterfeit Electronic Part
L0:Detection and Avoidance System.

244.301-3 Responsibility for granting, withholding, or withdrawing approval

Status: active

L0:244.301-3 Responsibility for granting, withholding, or withdrawing approval.

244.301-70 Policy

Status: active

L0:244.301-70 Policy.
L0:Use this section instead of FAR 44.301-3.
L1:(a) General. The contracting officer, with input from the purchasing system analyst
L0:or auditor, will?
L1:(1) Determine the acceptability of the contractor's purchasing system and
L0:approve or disapprove the system; and
L1:(2) Pursue correction of any deficiencies.
L1:(b) Evaluation. The contracting officer, with input from a purchasing system
L0:analyst or auditor, will evaluate the contractor's purchasing system to ensure it meets
L0:the requirements outlined in clause 252.244-7998.

L1:(c) Disposition of findings?

L1:(1) Reporting of findings. The purchasing system analyst or auditor will submit

L0:a written report of findings and recommendations to the contracting officer. If any

L0:material weaknesses exist, the report will describe the deficiencies in detail.

L1:(2) Initial determination.

L1:(i) If no material weaknesses are found, the contracting officer will promptly

L0:notify the contractor that their purchasing system is acceptable and approved; or

L1:(ii) If there are one or more material weaknesses due to the contractor's

L0:failure to meet one or more of the purchasing system criteria in the clause at 252.244-

L0:7998, the contracting officer will?

L1:(A) Make an initial written determination on any material weaknesses,

L0:notify the contractor in writing, and provide a detailed description of each material

L0:weakness (see PGI 244.301-70(c)(2));

L0:determination within 30 days; and

L1:(B) Request the contractor to respond in writing, to the initial

L0:the contractor's response and make a final determination.

L1:(C) With input from the purchasing system analyst or auditor, evaluate

L1:(3) Final determination.

L1:(i) The contracting officer will make a final determination and notify the

L0:contractor in writing, that?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 44

L0:Defense FAR Supplement (DFARS) Part 244

L0:no material weaknesses remain; or

L1:(A) The contractor's purchasing system is acceptable and approved, and

L1:(B) Material weaknesses remain. The notice will identify any

L0:remaining material weaknesses and indicate the adequacy of any proposed or

L0:completed corrective action. The contracting officer will?

L1:(1) Request that the contractor, within 45 days of receipt of the

L0:final determination, either correct the weaknesses or submit an acceptable corrective

L0:action plan showing milestones and actions to eliminate the weaknesses;

L0:252.244-7998; and

L1:(2) Disapprove the system in accordance with the clause at

L0:7005, Contractor Business Systems, if the clause is included in the contract.

L1:(3) Withhold payments in accordance with the clause at 252.242-

L1:(ii) Follow the procedures relating to monitoring a contractor's corrective

L0:action and the correction of material weaknesses in PGI 244.301-70(c)(3).

L1:(d) System approval. The contracting officer will promptly approve a previously

L0:disapproved purchasing system and notify the contractor when the contracting officer

L0:determines there are no remaining material weaknesses.

L1:(e) Contracting officer notifications. The cognizant contracting officer will promptly

L0:distribute copies of a determination to approve a system, disapprove a system and

L0:withhold payments, or approve a previously disapproved system and release withheld

L0:payments to the auditor; payment office; affected contracting officers at the buying

L0:activities; and cognizant contracting officers in contract administration activities.

L1:(f) Mitigating the risk of deficiencies on specific proposals.

L1:(1) Source selection evaluation teams will discuss identified deficiencies and
L0:their impact in all reports on contractor proposals until the deficiencies are resolved.

L1:(2) When negotiating a proposal generated by a purchasing system with a
L0:known deficiency, the contracting officer will assess whether the deficiency impacts
L0:negotiations. If it does not, proceed with negotiations. If it does, the contracting officer
L0:should consider other alternatives, e.g.?

L1:(i) Allowing the contractor additional time to correct the deficiency and
L0:submit a corrected proposal;

L1:(ii) Considering another type of contract, e.g., a fixed-price incentive (firm
L0:target) contract instead of firm-fixed-price;

L1:(iii) Using additional cost analysis techniques to determine the
L0:reasonableness of the cost elements affected by the deficiency;

L1:(iv) Segregating the questionable areas as a cost-reimbursable line item;

L1:(v) Reducing the negotiation objective for profit or fee; or
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 44
L0:Defense FAR Supplement (DFARS) Part 244

L1:(vi) Including a contract (reopener) clause that provides for adjustment of
L0:the contract amount after award.

L1:(3) The contracting officer who incorporates a reopener clause into the contract
L0:is responsible for negotiating price adjustments required by the clause. Any reopener
L0:clause necessitated by a deficiency should?

L1:(i) Clearly identify the amounts and items that are in question at the time
L0:of negotiation;

L1:(ii) Specify a deadline or event by which the contractor must submit a
L0:supplemental proposal, including certified cost or pricing data, detailing the cost impact
L0:of the deficient purchasing system;

L1:(iii) Permit the contracting officer to adjust the contract price unilaterally if
L0:the contractor fails to submit the supplemental proposal; and

L1:(iv) Provide that failure of the Government and the contractor to agree to
L0:the price adjustment shall be a dispute under the Disputes clause.

244.301-71 Contract clause

Status: active

L0:244.301-71 Contract clause.

L0:Insert the Contractor Purchasing System Administration basic clause or its alternate as
L0:follows:

L1:(a) Insert the clause at 252.244-7998, Contractor Purchasing System
L0:Administration?Basic, in solicitations and contracts containing the clause at FAR
L0:52.244-2, Subcontracts.

L1:(b) Insert the clause at 252.244-7998, Contractor Purchasing System
L0:Administration?Alternate I, in solicitations and contracts that contain the clause at
L0:252.246-7007, Contractor Counterfeit Electronic Part Detection and Avoidance System,
L0:but do not contain FAR 52.244-2, Subcontracts.

244.470 Requirements

Status: active

L0:244.470 Requirements.

L1:(a) Contractors are required to determine if subcontract items are commercial

L0:products or commercial services, using reasonable business judgement and following

L0:FAR part 10 market research guidance. This requirement does not affect the

L0:contracting officer's responsibilities or determinations made under FAR 15.403-2(c)(3).

L1:(b) Items that are valued at less than \$10,000 per item purchased for use in the

L0:performance of multiple DoD and non-DoD contracts and are not identifiable to any

L0:particular contract when purchased, shall be treated as commercial products, even

L0:though the items may not meet the definition of "commercial product" at FAR 2.101 and

L0:do not require a commercial product determination (10 U.S.C. 3457(c)).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 44

L0:Defense FAR Supplement (DFARS) Part 244

244.470-1 Contract clause

Status: active

L0:244.470-1 Contract clause.

L0:Insert the clause at 252.244-7999, Subcontracts for Commercial Products and

L0:Commercial Services, in solicitations and contracts, including solicitations and contracts

L0:using FAR part 12 procedures for the acquisition of commercial products and

L0:commercial services.

252.244-7998 Contractor Purchasing System Administration. (DEVIATION

Status: active

L0:252.244-7998 Contractor Purchasing System Administration. (DEVIATION

L0:2026-O0015)

L0:Basic. As prescribed in 244.301-71(a), use the following clause:

L0:CONTRACTOR PURCHASING SYSTEM ADMINISTRATION?BASIC

L0:(FEB 2026)(DEVIATION 2026-O0015)

L1:(a) Definitions. As used in this clause?

L0:"Acceptable purchasing system" means a purchasing system that complies with the

L0:system criteria in paragraph (c) of this clause.

L0:"Material weakness" means a deficiency or combination of deficiencies in the internal

L0:control over information in contractor business systems, such that there is a reasonable

L0:possibility that a material misstatement of such information will not be prevented, or

L0:detected and corrected, on a timely basis. A reasonable possibility exists when the

L0:likelihood of an event occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L0:"Purchasing system" means the Contractor's system or systems for purchasing and

L0:subcontracting, including make-or-buy decisions, the selection of vendors, analysis of L0:quoted prices, negotiation of prices with vendors, placing and administering of orders, L0:and expediting delivery of materials.

L1:(b) General. The Contractor shall establish and maintain an acceptable purchasing L0:system. Failure to maintain an acceptable purchasing system, as defined in this clause, L0:may result in disapproval of the system by the Contracting Officer and/or withholding L0:of payments.

L1:(c) System criteria. The Contractor's purchasing system shall?

L1:(1) Have an adequate system description including policies, procedures, and L0:purchasing practices that comply with the Federal Acquisition Regulation (FAR) and L0:the Defense Federal Acquisition Regulation Supplement (DFARS);

L1:(2) Ensure that all applicable purchase orders and subcontracts contain all L0:flowdown clauses, including terms and conditions and any other clauses needed to carry L0:out the requirements of the prime contract;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 44
L0:Defense FAR Supplement (DFARS) Part 244

L1:(3) Maintain an organization plan that establishes clear lines of authority and L0:responsibility;

L1:(4) Ensure all purchase orders are based on authorized requisitions and include L0:a complete and accurate history of purchase transactions to support vendor selected, L0:price paid, and document the subcontract/purchase order files which are subject to L0:Government review;

L1:(5) Establish and maintain adequate documentation to provide a complete and L0:accurate history of purchase transactions to support vendors selected and prices paid;

L1:(6) Apply a consistent make-or-buy policy that is in the best interest of the L0:Government;

L1:(7) Use competitive sourcing to the maximum extent practicable, and ensure L0:debarred or suspended contractors are properly excluded from contract award;

L1:(8) Evaluate price, quality, delivery, technical capabilities, and financial L0:capabilities of competing vendors to ensure fair and reasonable prices;

L1:(9) Require management level justification and adequate cost or price analysis, L0:as applicable, for any sole or single source award;

L1:(10) Perform timely and adequate cost or price analysis and technical L0:evaluation for each subcontractor and supplier proposal or quote to ensure fair and L0:reasonable subcontract prices;

L1:(11) Document negotiations in accordance with FAR 15.408;

L1:(12) Seek, take, and document economically feasible purchase discounts, L0:including cash discounts, trade discounts, quantity discounts, rebates, freight L0:allowances, and company-wide volume discounts;

L1:(13) Ensure proper type of contract selection and prohibit issuance of cost-plus- L0:a-percentage-of-cost subcontracts;

L1:(14) Maintain subcontract surveillance to ensure timely delivery of an L0:acceptable product and procedures to notify the Government of potential subcontract L0:problems that may impact delivery, quantity, or price;

L1:(15) Document and justify reasons for subcontract changes that affect cost or

L0:price;

L1:(16) Notify the Government of the award of all subcontracts that contain the

L0:FAR and DFARS flowdown clauses that allow for Government audit of those

L0:subcontracts, and ensure the performance of audits of those subcontracts;

L1:(17) Enforce adequate policies on conflict of interest, gifts, and gratuities,

L0:including the requirements of 41 U.S.C. chapter 87, Kickbacks;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 44

L0:Defense FAR Supplement (DFARS) Part 244

L1:(18) Perform internal audits or management reviews, training, and maintain

L0:policies and procedures for the purchasing department to ensure the integrity of the

L0:purchasing system;

L1:(19) Establish and maintain policies and procedures to ensure purchase orders

L0:and subcontracts contain mandatory and applicable flowdown clauses, as required by

L0:the FAR and DFARS, including terms and conditions required by the prime contract

L0:and any clauses required to carry out the requirements of the prime contract, including

L0:the requirements of 252.246-7007, Contractor Counterfeit Electronic Part Detection and

L0:Avoidance System, if applicable;

L1:(20) Provide for an organizational and administrative structure that ensures

L0:value from responsible and reliable sources, including the requirements of 252.246-

L0:7007, Contractor Counterfeit Electronic Part Detection and Avoidance System, if

L0:applicable;

L1:(21) Establish and maintain selection processes to ensure the most responsive

L0:and responsible sources for furnishing required quality parts and materials and to

L0:promote competitive sourcing among dependable suppliers so that purchases are

L0:reasonably priced and from sources that meet contractor quality requirements,

L0:including the requirements of 252.246-7007, Contractor Counterfeit Electronic Part

L0:Detection and Avoidance System, and the item marking requirements of 252.211-7003,

L0:Item Unique Identification and Valuation, if applicable;

L1:(22) Establish and maintain procedures to ensure performance of adequate

L0:price or cost analysis on purchasing actions;

L1:(23) Establish and maintain procedures to ensure that proper types of

L0:subcontracts are selected, and that there are controls over subcontracting, including

L0:oversight and surveillance of subcontracted effort; and

L1:(24) Establish and maintain procedures to timely notify the Contracting Officer,

L0:in writing, if?

L1:(i) The Contractor changes the amount of subcontract effort after award such

L0:that it exceeds 70 percent of the total cost of the work to be performed under the

L0:contract, task order, or delivery order. The notification shall identify the revised cost of

L0:the subcontract effort and shall include verification that the Contractor will provide

L0:added value; or

L1:(ii) Any subcontractor changes the amount of lower-tier subcontractor effort

L0:after award such that it exceeds 70 percent of the total cost of the work to be performed

L0:under its subcontract. The notification shall identify the revised cost of the subcontract

L0:effort and shall include verification that the subcontractor will provide added value as

L0:related to the work to be performed by the lower-tier subcontractor(s).

L1:(d) Material weaknesses.

L1:(1) The Contracting Officer will provide notification of initial determination to

L0:the Contractor, in writing, of any material weaknesses. The initial determination will

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 44

L0:Defense FAR Supplement (DFARS) Part 244

L0:describe the underlying deficiency in sufficient detail to allow the Contractor to

L0:understand the weakness or deficiency.

L1:(2) The Contractor shall respond within 30 days to a written initial

L0:determination from the Contracting Officer that identifies material weaknesses in the

L0:Contractor's purchasing system. If the Contractor disagrees with the initial

L0:determination, the Contractor shall state, in writing, its rationale for disagreeing.

L1:(3) The Contracting Officer will evaluate the Contractor's response and notify

L0:the Contractor, in writing, of the Contracting Officer's final determination concerning?

L1:(i) Remaining material weaknesses;

L1:(ii) The adequacy of any proposed or completed corrective action; and

L1:(iii) System disapproval, if the Contracting Officer determines that one or

L0:more material weaknesses remain.

L1:(e) If the Contractor receives the Contracting Officer's final determination of

L0:material weaknesses, the Contractor shall, within 45 days of receipt of the final

L0:determination, either correct the material weaknesses or submit an acceptable

L0:corrective action plan showing milestones and actions to eliminate the weaknesses.

L1:(f) Withholding payments. If the Contracting Officer makes a final determination to

L0:disapprove the Contractor's purchasing system, and the contract includes the clause at

L0:252.242-7005, Contractor Business Systems, the Contracting Officer will withhold

L0:payments in accordance with that clause.

L0:(End of clause)

L0:Alternate I. As prescribed in 244.301-71(b), use the following clause, which

L0:amends paragraph (c) of the basic clause by deleting paragraphs (c)(1) through (c)(18)

L0:and (c)(22) through (c)(24), and revising and renumbering paragraphs (c)(19) through

L2:(c)(21) of the basic clause.

L0:CONTRACTOR PURCHASING SYSTEM ADMINISTRATION?ALTERNATE I

L0:(JAN 2025)

L0:The following paragraphs (a) through (f) of this clause do not apply unless the

L0:Contractor is subject to the Cost Accounting Standards under 41 U.S.C. chapter 15, as

L0:implemented in regulations found at 48 CFR 9903.201-1.

L1:(a) Definitions. As used in this clause?

L0:?"Acceptable purchasing system?" means a purchasing system that complies with the

L0:system criteria in paragraph (c) of this clause.

L0:?"Material weakness?" means a deficiency or combination of deficiencies in the internal

L0:control over information in contractor business systems, such that there is a reasonable

L0:possibility that a material misstatement of such information will not be prevented, or

L0:detected and corrected, on a timely basis. A reasonable possibility exists when the

L0:likelihood of an event occurring is?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 44

L0:Defense FAR Supplement (DFARS) Part 244

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L0:“Purchasing system” means the Contractor’s system or systems for purchasing and subcontracting, including make-or-buy decisions, the selection of vendors, analysis of quoted prices, negotiation of prices with vendors, placing and administering of orders, and expediting delivery of materials.

L1:(b) Acceptable purchasing system. The Contractor shall establish and maintain an acceptable purchasing system. Failure to maintain an acceptable purchasing system, as defined in this clause, may result in disapproval of the system by the Contracting Officer and/or withholding of payments.

L1:(c) System criteria. The Contractor’s purchasing system shall?

L1:(1) Establish and maintain policies and procedures to ensure purchase orders and subcontracts contain mandatory and applicable flowdown clauses, as required by the FAR and DFARS, including terms and conditions required by the prime contract and any clauses required to carry out the requirements of the prime contract, including the requirements of 252.246-7007, Contractor Counterfeit Electronic Part Detection and Avoidance System;

L1:(2) Provide for an organizational and administrative structure that ensures value from responsible and reliable sources, including the requirements of 252.246-7007, Contractor Counterfeit Electronic Part Detection and Avoidance System, and, if applicable, the item marking requirements of 252.211-7003, Item Unique Identification and Valuation; and

L1:(3) Establish and maintain selection processes to ensure the most responsive and responsible sources for furnishing required quality parts and materials and to promote competitive sourcing among dependable suppliers so that purchases are from sources that meet contractor quality requirements, including the requirements of 252.246-7007, Contractor Counterfeit Electronic Part Detection and Avoidance System.

L1:(d) Material weaknesses.

L1:(1) The Contracting Officer will provide notification of initial determination to the Contractor, in writing, of any material weaknesses. The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand the weaknesses or deficiency.

L1:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that identifies material weaknesses in the Contractor’s purchasing system. If the Contractor disagrees with the initial determination, the Contractor shall state, in writing, its rationale for disagreeing.

L1:(3) The Contracting Officer will evaluate the Contractor’s response and notify the Contractor, in writing, of the Contracting Officer’s final determination concerning?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 44

L0:Defense FAR Supplement (DFARS) Part 244

L1:(i) Remaining material weaknesses;

L1:(ii) The adequacy of any proposed or completed corrective action; and

L1:(iii) System disapproval, if the Contracting Officer determines that one or more material weaknesses remain.

L1:(e) If the Contractor receives the Contracting Officer's final determination of
L0:material weaknesses, the Contractor shall, within 45 days of receipt of the final
L0:determination, either correct the material weaknesses or submit an acceptable
L0:corrective action plan showing milestones and actions to eliminate the weaknesses.
L1:(f) Withholding payments. If the Contracting Officer makes a final determination to
L0:disapprove the Contractor's purchasing system, and the contract includes the clause at
L0:252.242-7005, Contractor Business Systems, the Contracting Officer will withhold
L0:payments in accordance with that clause.
L0:(End of clause)

252.244-7999 Subcontracts for Commercial Products or Commercial Services

Status: active

L0:252.244-7999 Subcontracts for Commercial Products or Commercial Services.

L0:(DEVIATION 2026-O0015)

L0:As prescribed in 244.470-1, use the following clause:

L0:SUBCONTRACTS FOR COMMERCIAL PRODUCTS OR COMMERCIAL SERVICES

L0:(FEB 2026)(DEVIATION 2026-O0015)

L1:(a) The Contractor shall not include the terms of any Federal Acquisition
L0:Regulation (FAR) clause or Defense Federal Acquisition Regulation Supplement
L1:(DFARS) clause in subcontracts for commercial products or commercial services at any
L0:tier under this contract, unless?
L1:(1) For DFARS clauses, it is so specified in the particular clause; or
L1:(2) For FAR clauses, the clause is listed at FAR 12.205 or it is so specified in
L0:paragraph (b) of the clause at FAR 52.244-6, as applicable. (Section 847(b)(1)(B), Pub.

L0:L. 114-328)

L2:(b)(1) In accordance with 10 U.S.C. 3457(c), the Contractor shall treat as
L0:commercial products any items valued at less than \$10,000 per item that were
L0:purchased by the Contractor for use in the performance of multiple contracts with the
L0:Department of Defense and other parties and are not identifiable to any particular
L0:contract when purchased.

L1:(2) The Contractor shall ensure that any items to be used in performance of this
L0:contract, that are treated as commercial products pursuant to paragraph (b)(1) of this
L0:clause, meet all terms and conditions of this contract that are applicable to commercial
L0:products in accordance with the clause at FAR 52.244-6 and paragraph (a) of this
L0:clause.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 44

L0:Defense FAR Supplement (DFARS) Part 244

L1:(c) Subcontracts. The Contractor shall include the terms of this clause, including
L0:this paragraph (c), in subcontracts awarded under this contract, including subcontracts
L0:for the acquisition of commercial products or commercial services.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 44

L0:Defense FAR Supplement (DFARS) Part 244

L0:PGI 244?SUBCONTRACTING POLICIES AND PROCEDURES

L0:PGI 244.2?EVALUATION AND AWARD

L0:PGI 244.201 Consent to subcontracts and requirements for advance notice.

L0:PGI 244.201-1 Consent requirements.

L2:(i)(A) When contracting for information technology, whether as a service or as a supply, that

L0:is a covered system or covered item of supply, consider the need for a consent to

L0:subcontract requirement regarding supply chain risk (see subpart 239.73). In collaboration

L0:with the requiring activity, assess the criticality of the component or system to be supplied

L0:and potential supply chain risk concerns.

L1:(B) The contracting officer?s written consent to subcontract is necessary when

L0:subcontractors are selected or modified during contract performance.

L1:(C) If a potential subcontractor?s risk is beyond the tolerance of the system and mission, the

L0:requiring activity must inform the contracting officer. The contracting officer can use the

L0:authority granted in section 806 of Pub. L. 111-383 to withhold consent for the contractor to

L0:subcontract with a particular source or exclude a source from consideration as specified in

L0:DFARS 239.73.

L0:PGI 244.201-3 Contracting officer?s responsibilities.

L0:If subcontractor selection is not based on lowest price, assess if the contractor adequately

L0:justified selecting the subcontractor as offering the best value to the government.

L0:PGI 244.3?POSTAWARD

L0:PGI 244.301-70 Policy.

L1:(c) Disposition of findings.

L1:(2) Initial determination.

L2:(ii)(A) Within 30 days of receiving the report, if the contracting officer makes a

L0:determination that there is a material weakness, the contracting officer should provide an

L0:initial determination of material weaknesses and a copy of the report to the contractor and

L0:require the contractor to submit a written response.

L1:(C) Evaluation of contractor's response. Within 30 days of receiving the

L0:contractor?s response, the contracting officer, with input from the auditor or functional

L0:specialist, should evaluate the contractor?s response and make a final determination.

L1:(3) Final determination.

L2:(ii)(A) Monitoring contractors? corrective action. The contracting officer and

L0:Purchasing System Analyst (PSA) or auditor will monitor the contractor's progress in

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 44

L0:Defense FAR Supplement (DFARS) Part 244

L0:correcting material weaknesses and deficiencies. If the contractor fails to make adequate

L0:progress, the contracting officer will take necessary action to ensure that the contractor

L0:corrects the weaknesses and deficiencies. Actions the contracting officer may take include:

L0:withdrawing or withholding approval of the system; bringing the issue to the attention of

L0:higher level management; recommending non-award of potential contracts, as applicable;

L0:and for material weaknesses, implementing or increasing the withholding in accordance with

L0:252.242-7005, Contractor Business Systems.

L1:(B) Correction of material weaknesses.

L1:(1) When the contractor notifies the contracting officer that the contractor

L0:has corrected the material weaknesses, the contracting officer will request the PSA or
L0:auditor to review the correction to assess if the weaknesses and deficiencies have been
L0:resolved.

L0:weaknesses and deficiencies.

L1:(2) The contracting officer will determine if the contractor has corrected the

L1:(3) If the contracting officer determines the contractor has corrected the

L0:deficiencies, the contracting officer's notification will be sent to the PSA; auditor; payment
L0:office; appropriate action officers responsible for reporting past performance at the requiring

L0:activities; and each contracting and contract administration office having substantial

L0:business with the contractor as applicable.

PART 45

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

245.101 Definitions

Status: active

L0:245.101 Definitions.

L0:Mapping, charting, and geodesy property, as used in this subpart, is defined in the

L0:clause at 252.245-7000, Government-Furnished Mapping, Charting, and Geodesy

L0:Property.

245.102 Policy

Status: active

L0:245.102 Policy.

L0:See the policy guidance at PGI 245.102-70.

L1:(1) Mapping, charting, and geodesy property. All Government-furnished

L0:mapping, charting, and geodesy (MC&G) property is controlled by the Director,

L0:National Geospatial Intelligence Agency.

L1:(i) MC&G property must not be duplicated, copied, or otherwise reproduced

L0:for purposes other than those necessary for contract performance.

L1:(ii) Upon completion of contract performance, the contracting officer must?

L1:(A) Contact the Director, National Geospatial-Intelligence Agency, 7500

L0:Geoint Drive, Springfield, VA 22150, for disposition instructions;

L1:(B) Direct the contractor to destroy or return all Government-furnished

L0:MC&G property not consumed during contract performance; and

L1:(C) Specify the destination and means of shipment for property to be

L0:returned to the Government.

L1:(2) Government supply sources. When a contractor will be responsible for

L0:preparing requisitioning documentation to acquire Government-furnished property

L1:(GFP) from Government supply sources, require the contractor to prepare the

L0:documentation in accordance with DLM 4000.25, Defense Logistics Management

L0:Standards (DLMS), Volume 2, Supply Standards and Procedures. Copies are

L0:available from the address cited at 208.105

L1:(3) Acquisition and management of industrial resources. See Subpart 237.75 for

L0:policy relating to facilities projects.

L1:(4) GFP identification.

L1:(i) It is DoD policy that GFP be tagged, labeled, or marked based on DoD

L0:marking standards (MIL Standard 130) or other standards, when the requiring

L0:activity determines that such items are subject to serialized item management
L0:(serially-managed items). Identify the list of GFP subject to serialized item
L0:management in the contract in accordance with 245.102, Government-furnished
L0:property attachments to solicitations and awards.
L1:(ii) Exceptions. The Contractor is not required to tag, label, or mark?
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45
L0:Defense FAR Supplement (DFARS) Part 245
L1:(A) GFP that was previously tagged, labeled, or marked;
L1:(B) Items, as determined by the head of the agency, that are to be used
L0:to support a contingency operation; or to facilitate defense against or recovery from
L0:nuclear, biological, chemical, or radiological attack;
L1:(C) Items for which a determination and findings has been executed
L0:concluding that it is more cost effective for the Government requiring activity to
L0:assign, mark, and register the unique item identification after delivery of an item
L0:acquired from a small business concern or a commercial product acquired under
L0:FAR part 12 or part 8.
L1:(1) The determination and findings must be executed by?
L0:Category (ACAT) I program; or
L1:(i) The Component Acquisition Executive for an Acquisition
L1:(ii) The head of the contracting activity for all other programs.
L1:(2) Provide a copy of the executed determination and findings to the
L0:Office of the Principal Director, Defense Pricing, Contracting, and Acquisition Policy
L0:(Contracting eBusiness) via email at osd.pentagon.ousd-a-s.mbx.dpc-cb@mail.mil.
L1:(D) Items that are contractor-acquired property;
L1:(E) Property under any statutory leasing authority;
L1:(F) Property to which the Government has acquired a lien or title solely
L0:because of partial, advance, progress, or performance-based payments;
L1:(G) Intellectual property or software; or
L1:(H) Real property.
L1:(5) Reporting loss of Government property. Contractors are required to report all
L0:Government property in the GFP module of the Procurement Integrated Enterprise
L0:Environment (PIEE) in accordance with the clause at 252.245-7005, Management
L0:and Reporting of Government Property.

245.103 -72

Status: active

L0:245.103 -72.

L1:(2) The following require a contract modification and an update to the GFP
L0:attachment in the GFP module of the PIEE to create a consolidated, conformed list of
L0:property to be contractually provided under the contract.
L1:(i) Any change to the mandatory fields of the GFP attachment (see PGI
L0:245.103-72).
L1:(ii) Addition or deletion of any GFP or anticipated GFP under the contract.

L1:(iii) Transfer of GFP accountability between existing contracts (see PGI

L0:245.103-71).

L1:(iv) Delivery and Government acceptance of contractor-acquired property when

L0:retained by the contractor for use under a contract (see PGI 245.402-71).

L1:(v) Substitution of GFP for previously furnished GFP, GFP to be furnished, or

L0:property to be acquired by the contractor for the Government under the contract.

L1:(vi) Withdrawal of authority for contractor use of GFP.

L1:(3) Include in applicable solicitations and contracts the CDRL provided by the

L0:requiring activity for reporting Government inventory held under sustainment contracts

L0:(see PGI 245.103-73).

L0:PGI 245.105 Contractors property management system compliance.

L1:(d) Disposition of findings.

L1:(2) Initial determination.

L2:(ii)(A) Within 30 days of receiving the report, if the contracting officer makes

L0:a determination that there is a material weakness, the contracting officer should provide

L0:an initial determination of material weaknesses and a copy of the report to the

L0:contractor and require the contractor to submit a written response.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45

L0:Defense FAR Supplement (DFARS) Part 245

L1:(C) Evaluation of contractor's response. Within 30 days of receiving the

L0:contractor's response, the contracting officer, in consultation with the auditor or

L0:cognizant functional specialist, should evaluate the contractor's response and make a

L0:final determination.

L1:(3) Final determination.

L2:(ii)(A) Monitoring contractor's corrective action. The contracting officer, with

L0:the assistance of the auditor, will monitor the contractor's progress in correcting material

L0:weaknesses and deficiencies. If the contractor fails to make adequate progress, the

L0:contracting officer will take whatever action is necessary to ensure that the contractor

L0:corrects the weaknesses and deficiencies. Actions the contracting

L0:officer may take include: withdrawing or withholding approval of the system; bringing the

L0:issue to the attention of higher level

L0:management; <http://www.acq.osd.mil/dpap/dars/dfars/html/current/252242.htm#252.242>

L0:-7005 recommending non-award of potential contracts, as applicable; and for material

L0:weaknesses, implementing or increasing the withholding in accordance with 252.242-

L0:7005, Contractor Business Systems.

L1:(B) Correction of material weaknesses.

L1:(1) When the contractor notifies the contracting officer that the

L0:contractor has corrected the material weaknesses, the contracting officer will request

L0:that the auditor review the correction to determine if the weaknesses and deficiencies

L0:have been resolved.

L0:corrected the weaknesses and deficiencies.

L1:(2) The contracting officer will determine if the contractor has

L1:(3) If the contracting officer determines the contractor has

L0:corrected the weaknesses and deficiencies, send the contracting officer's notification to

L0:the auditor; payment office; appropriate action officers responsible for reporting past

L0:performance at the requiring activities; and each contracting and contract administration
L0:office having substantial business with the contractor as applicable.

L1:(e) The Procurement Integrated Enterprise Environment (PIEE) application

L0:Contractor Property Administration Management (CPAM) must be used for scheduling

L0:and managing contractor property management system reviews. Training on CPAM can

L0:be found at CPAM Training - Introduction | PIEE.

L0:PGI 245.4?TITLE TO GOVERNMENT PROPERTY

L0:PGI 245.402 Title to contractor-acquired property.

L0:PGI 245.402-70 Policy.

L0:Title vests in the Government for all property acquired or fabricated by the contractor in

L0:accordance with paragraph (e)(3) of the clause at FAR 52.245-1, Government Property.

L0:Oversight and visibility of contractor-acquired property (CAP) is accomplished through

L0:reviews and audits of contractor business systems, including?

L1:(1) Accounting systems (see DFARS 242.75);

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45

L0:Defense FAR Supplement (DFARS) Part 245

L1:(2) Property management systems (see DFARS 245.105); and

L1:(3) Material management and accounting systems (see DFARS 242.72).

L0:PGI 245.402-71 Delivery of contractor-acquired property.

L1:(1) A line item is required for the delivery of CAP. This includes property delivered

L0:to the Government as part of a sustainment contract or similar arrangement where the

L0:Government is contracting for a level of performance which will require the contractor to

L0:deliver items in support of that performance.

L1:(2) The contractual transfer of accountability of CAP from one contract to another is

L0:prohibited. Only upon delivery under a line item can property be transferred to other

L0:contracts as Government-furnished property (GFP) (see PGI 245.103-71).

L1:(3) Upon delivery and acceptance by the Government, and when retained by the

L0:contractor for use under a contract, the delivered CAP items become GFP and must be

L0:added to the contract GFP attachment (see PGI 245.103-72).

L1:(4) Contractor-acquired property not anticipated at time of contract award.

L1:(i) For CAP not anticipated at the time of contract award, or not otherwise

L0:specified for delivery on an existing line item, the contracting officer will direct delivery of

L0:the CAP items to the Government on a not separately priced (NSP) line item (e.g.

L0:contract line item, exhibit line item, etc.). Such items are typically identified through?

L1:(A) Plant clearance in accordance with the clause at DFARS 252.245-7005,

L0:Management and Reporting of Government Property.

L1:(B) Inventory reports provided by the contractor in accordance with FAR

L0:clause 52.245-1; or

L1:(C) Other reporting requirements, such as CDRLs, specified in the contract.

L1:(ii) The contracting officer will direct delivery of CAP on a line item as soon as

L0:the CAP item is identified, if?

L1:(A) The value of the item meets or exceeds the capitalization threshold as

L0:identified in the memorandum issued jointly by the Under Secretary of Defense (USD)

L0:Comptroller and the USD (Acquisition and Sustainment) on 20 September 2013,

L0:entitled, ?Elimination of Military Equipment Definition and Increase to Capitalization

L0:Thresholds for General Property, Plant and Equipment? (available
L0:at <http://www.acq.osd.mil/pepolicy/pdfs/FinancialReportingGPPEMemo.pdf>) or;
L1:(B) The item is special tooling, special test equipment, or equipment
L0:designated for preservation and storage under a major defense acquisition program
L0:(reference: Section 815 of the National Defense Authorization Act for Fiscal Year 2009
L0:(Pub. L. 110-417)).
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45
L0:Defense FAR Supplement (DFARS) Part 245
L1:(iii) Each NSP line item of CAP to be delivered to the Government must include
L0:the following information:
L1:(A) Line Item Number
L1:(B) Item Description
L1:(C) Either a National Stock Number, manufacturers CAGE and
L0:Part Number, or a Model Number
L1:(D) Quantity
L1:(E) Unit of Measure
L1:(F) Date placed in Service by the Contractor
L0:PGI 245.602-1 Inventory Disposal Schedules
L0:For termination inventory, plant clearance officers must verify inventory schedules,
L0:either directly or through appropriate technical personnel, to determine the following:
L1:(a) Allocability.
L1:(1) Review contract requirements, delivery schedules, bills of material, and
L0:other pertinent documents to determine whether schedules include property that?
L1:(i) Is appropriate for use on the contract; or
L1:(ii) Exceeds the quantity required for completion of the contract, but could
L0:be diverted to other commercial work or Government use.
L1:(2) Review the contractor's?
L1:(i) Recent purchases of similar material;
L1:(ii) Plans for current and scheduled production;
L1:(iii) Stock record entries; and
L1:(iv) Bills of material for similar items.
L1:(b) Quantity. Take measures to provide assurance that available inventory is in
L0:accordance with quantities listed on the inventory schedules. Quantities may be verified
L0:by actual item count, acceptance of labeled quantities in unopened/sealed packages,
L0:scale counts, or other appropriate methods.
L1:(c) Condition. Ensure that the physical condition of the property is reasonably
L0:consistent with the Federal Condition Code supplied by the contractor.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45
L0:Defense FAR Supplement (DFARS) Part 245
L0:PGI 245.604 Sale of surplus personal property.
L0:When selling surplus personal property, plant clearance officers are required to follow
L0:the following procedures.
L1:(a) Best value sales approach. Plant clearance officers must determine a best
L0:value sales approach, considering costs, risks, and benefits, e.g., potential sales
L0:proceeds.

L1:(b) Invitation for bid procedures. The plant clearance officer may direct the
L0:contractor to issue informal invitations for bid (orally, telephonically, or by other informal
L0:media), provided?

L1:(1) Maximum practical competition is obtained;

L1:(2) Sources solicited are recorded; and

L1:(3) Informal bids are confirmed in writing.

L1:(c) Sale approval and award. Plant clearance officers must?

L1:(1) Evaluate bids to establish that the sale price is fair and reasonable, taking
L0:into consideration?

L1:(i) Knowledge or tests of the market;

L1:(ii) Current published prices for the property;

L1:(iii) The nature, condition, quantity, and location of the property; and

L1:(iv) Past sale history for like or similar items;

L1:(2) Approve award to the responsible bidder whose bid is most advantageous to
L0:the Government. The plant clearance officer must not approve award to any bidder who
L0:is an ineligible transferee, as defined in 252.245-7005, Management and Reporting of
L0:Government Property; and

L1:(3) Notify the contractor of the bidder to whom an award will be made within 5
L0:business days from receipt of bids.

L1:(d) Negotiated sales.

L1:(1) Negotiated sales include purchases or retention at less than cost by the
L0:contractor. Negotiated sales are authorized when?

L1:(i) The plant clearance officer determines that this method is essential to
L0:expeditious plant clearance; and

L1:(ii) The Government's interests are adequately protected.

L1:(2) Negotiated sales must be at fair and reasonable prices, not less than those
L0:reasonably expected under competitive sales.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45
L0:Defense FAR Supplement (DFARS) Part 245

L1:(3) Conditions justifying negotiated sales are?

L1:(i) No acceptable bids are received under competitive sale;

L1:(ii) Anticipated sales proceeds do not warrant competitive sale;

L1:(iii) Specialized nature of the property would not create bidder interest;

L1:(iv) Removal of the property would reduce its value or result in
L0:disproportionate handling expenses; or

L1:(v) Such action is essential to the Government's interests.

L1:(e) Plant clearance officers must consider any special disposal requirements such
L0:as demilitarization or trade security control requirements in accordance with DoDM
L0:4160.28-M, Defense Demilitarization Manual, and DoDI 2030.08, Implementation of
L0:Trade Security Controls (TSCs) for Transfers of DoD Personal Property to Parties
L0:Outside DoD Control, respectively.

245.103-70 Furnishing Government property to contractors

Status: active

L0:245.103-70 Furnishing Government property to contractors.
L0:Follow the procedures at PGI 245.103-70 for furnishing Government property to
L0:contractors.

245.103-71 Transferring Government property accountability

Status: active

L0:245.103-71 Transferring Government property accountability.
L0:Follow the procedures at PGI 245.103-71 for transferring Government property
L0:accountability.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45
L0:Defense FAR Supplement (DFARS) Part 245

245.103-72 Government-furnished property attachments to solicitations

Status: active

L0:245.103-72 Government-furnished property attachments to solicitations
L0:and awards.
L0:When performance will require the use of GFP, contracting officers must include
L0:the GFP attachment to solicitations and awards. See PGI 245.103-72 for
L0:procedures and helpful links.

245.103-73 Government property under sustainment contracts

Status: active

L0:245.103-73 Government property under sustainment contracts.
L0:See PGI 245.103-73 for information on the reporting requirements for Government
L0:inventory held by contractors under sustainment contracts.

245.103-74 Contracting office responsibilities

Status: active

L0:245.103-74 Contracting office responsibilities.
L0:See PGI 245.103-74 for contracting office responsibilities.

245.104 Responsibility and liability for Government property

Status: active

L0:245.104 Responsibility and liability for Government property.
L0:In addition to the contract types listed at FAR 45.104, contractors are not held
L0:liable for loss of Government property under negotiated fixed-price contracts
L0:awarded on a basis other than submission of certified cost or pricing data.

245.105 Contractors property management system compliance

Status: active

L0:245.105 Contractors property management system compliance.

L1:(a) Definitions . As used in this section?

L0:?'Acceptable property management system?' means a property system that

L0:complies with the system criteria in paragraph (c) of the clause at 252.245-7003,

L0:Contractor Property Management Administration.

L0:?'Property management system?' means the contractor?'s system or systems for

L0:managing and controlling Government property.

L1:(b) Policy. The cognizant contracting officer, in consultation with the property

L0:administrator, must?

L1:(1) Determine the acceptability of the system and approve or disapprove the

L0:system; and

L1:(2) Pursue correction of any weaknesses or deficiencies.

L1:(c) In evaluating the acceptability of a contractor?'s property management

L0:system, the contracting officer, in consultation with the property administrator,

L0:must determine whether the contractor?'s property management system complies

L0:with the system criteria for an acceptable property management system as

L0:prescribed in the clause at 252.245-7003, Contractor Property Management System

L0:Administration.

L1:(d) Disposition of findings?

L1:(1) Reporting of findings. The property administrator must document

L0:findings and recommendations in a report to the contracting officer. If the property

L0:administrator identifies any material weaknesses, the report must describe

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45

L0:Defense FAR Supplement (DFARS) Part 245

L0:the underlying deficiencies in sufficient detail to allow the contracting officer to

L0:understand the weaknesses or deficiencies.

L1:(2) Initial determination.

L1:(i) The contracting officer must review findings and recommendations

L0:and, if there are no material weaknesses, must promptly notify the contractor, in

L0:writing, that the contractor?'s property management system is acceptable and

L0:approved; or

L1:(ii) If the contracting officer finds that there are one or more material

L0:weaknesses due to the contractor?'s failure to meet one or more of the property

L0:management system criteria in the clause at 252.245-7003, the contracting officer

L0:must?

L1:(A) Promptly make an initial written determination on any material

L0:weaknesses and notify the contractor, in writing, providing a description of

L0:each material weakness in sufficient detail to allow the contractor to understand

L0:the weakness (see PGI 245.105 (d)(2));

L0:determination within 30 days and;

L1:(B) Request the contractor to respond, in writing, to the initial

L0:in consultation with the property administrator, and make a final determination.

L1:(C) Evaluate the contractor's response to the initial determination,
L1:(3) Final determination.
L1:(i) The contracting officer must make a final determination and notify
L0:the contractor, in writing, that?
L0:approved, and no material weaknesses remain; or
L1:(A) The contractor's property management system is acceptable and
L1:(B) Material weaknesses remain. The notice must identify any
L0:remaining material weaknesses and indicate the adequacy of any proposed or
L0:completed corrective action. The contracting officer must?
L1:(1) Request that the contractor, within 45 days of receipt of the
L0:final determination, either correct the weaknesses or submit an acceptable
L0:corrective action plan showing milestones and actions to eliminate the weaknesses;
L0:at 252.245-7003; and
L1:(2) Disapprove the system in accordance with the clause
L1:(3) Withhold payments in accordance with the clause
L0:at 252.242-7005 , Contractor Business Systems, if the clause is included in the
L0:contract.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45
L0:Defense FAR Supplement (DFARS) Part 245
L1:(ii) Follow the procedures relating to monitoring a contractor's corrective
L0:action and the correction of material weaknesses in PGI 245.105 (d)(3).
L1:(e) System approval. The contracting officer must promptly approve a
L0:previously disapproved property management system and notify the contractor
L0:when the contracting officer determines, in consultation with the property
L0:administrator, that there are no remaining material weaknesses.
L1:(f) Contracting officer notifications. The cognizant contracting officer must
L0:promptly distribute copies of a determination to approve a system, disapprove a
L0:system and withhold payments, or approve a previously disapproved system and
L0:release withheld payments to the auditor; payment office; affected contracting
L0:officers at the buying activities; and cognizant contracting officers in contract
L0:administration activities.

245.107 Contract clauses

Status: active

L0:245.107 Contract clauses.
L2:(1)(i) In lieu of the prescription at FAR 45.107(d), insert the clause at FAR
L0:52.245-1, Government Property, in all purchase orders for repair, maintenance,
L0:overhaul, or modification of Government property regardless of the unit acquisition
L0:cost of the items to be repaired.
L1:(ii) For negotiated fixed-price contracts awarded on a basis other than
L0:submission of certified cost or pricing data for which Government property is
L0:provided, insert the clause at FAR 52.245-1, Government Property, without its
L0:Alternate I.

L1:(2) Insert the clause at 252.245-7000, Government-Furnished Mapping, L0:Charting, and Geodesy Property, in solicitations and contracts when mapping, L0:charting, and geodesy property will be furnished.

L1:(3) Insert the clause at 252.245-7003, Contractor Property Management System L0:Administration, in solicitations and contracts containing the clause at FAR 52.245- L0:1, Government Property.

L1:(4) Insert the clause at 252.245-7005, Management and Reporting of L0:Government Property, in solicitations and contracts, including solicitations and L0:contracts using FAR part 12 procedures for the acquisition of commercial products L0:and commercial services, that contain the clause at FAR 52.245-1, Government L0:Property.

245.370 Contracts with foreign governments or international

Status: active

L0:245.370 Contracts with foreign governments or international L0:organizations.

L1:(a) Definition. As used in this subpart?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45

L0:Defense FAR Supplement (DFARS) Part 245

L0:Major defense equipment? is defined in DoD Directive 2140.2, Recoupment of L0:Nonrecurring Costs on Sales of U.S. Items, as any item of significant military L0:equipment on the United States Munitions List having a nonrecurring research, L0:development, test, and evaluation cost of more than \$50 million or a total L0:production cost of more than \$200 million.

L1:(b) General.

L1:(1) Approval. A contractor may use Government property on work for L0:foreign governments and international organizations only when approved in writing L0:by the contracting officer having cognizance of the property. The contracting officer L0:may grant approval, provided?

L1:(i) The use will not interfere with foreseeable requirements of the United L0:States;

L1:(ii) The work is undertaken as a DoD foreign military sale; or

L1:(iii) For a direct commercial sale, the foreign country or international L0:organization would be authorized to contract with the department concerned under L0:the Arms Export Control Act.

L1:(2) Use charges.

L1:(i) The Use and Charges clause is applicable on direct commercial sales L0:to foreign governments or international organizations.

L1:(ii) When a particular foreign government or international organization L0:has funded the acquisition of property, do not assess the foreign government or L0:international organization rental charges or nonrecurring recoupments for the use L0:of such property.

L1:(c) Special tooling and special test equipment.

L1:(1) DoD normally recovers a fair share of nonrecurring costs of special
L0:tooling and special test equipment by including these costs in its calculation of the
L0:nonrecurring cost recoupment charge when major defense equipment is sold by
L0:foreign military sales or direct commercial sales to foreign governments or
L0:international organizations.

L1:(2) When the cost thresholds in paragraph (2)(i) of this section are not met,
L0:the contracting officer must assess rental charges for use of special tooling and
L0:special test equipment pursuant to the Use and Charges clause if administratively
L0:practicable.

L1:(d) Waivers.

L1:(1) Rental charges for use of U.S. production and research property on
L0:commercial sales transactions to the Government of Canada are waived for all
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45
L0:Defense FAR Supplement (DFARS) Part 245
L0:commercial contracts. This waiver is based on an understanding wherein the
L0:Government of Canada has agreed to waive its rental charges.

L1:(2) Requests for waiver or reduction of charges for the use of Government
L0:property on work for foreign governments or international organizations must be
L0:submitted to the contracting officer, who is authorized to approve the requests in
L0:consultation with the appropriate functional specialist.

245.402 Title to contractor-acquired property

Status: active

L0:245.402 Title to contractor-acquired property.

245.402-70 Policy

Status: active

L0:245.402-70 Policy.

L0:Review the guidance at PGI 245.402-70 with regard to oversight and surveillance of
L0:contractor-acquired property.

245.402-71 Delivery of contractor-acquired property

Status: active

L0:245.402-71 Delivery of contractor-acquired property.

L0:Follow the procedures at PGI 245.402-71 for the delivery of contractor-acquired
L0:property.

245.602 Reutilization of Government property

Status: active

L0:245.602 Reutilization of Government property.

245.602-1 Inventory disposal schedules

Status: active

L0:245.602-1 Inventory disposal schedules.

L0:See PGI 245.602-1 for guidance on inventory disposal schedules.

245.602-3 Screening

Status: active

L0:245.602-3 Screening.

L0:Property will be screened DoD-wide, including the contracting agency, requiring L0:agency, and, as appropriate, the General Services Administration. The requiring L0:agency must have priority for retention of listed items. All required screening must L0:be completed before any sale of contractor inventory, including contractor inventory L0:in overseas locations (foreign excess personal property) can take place. Upon L0:request of the prospective reutilization, transfer, donation, or sales customer, the L0:plant clearance officer must arrange for inspection of property at the contractor's L0:plant in such a manner as to avoid interruption of the contractor's operations, and L0:consistent with any security requirements.

245.602-70 Plant clearance procedures

Status: active

L0:245.602-70 Plant clearance procedures.

L0:Follow the procedures at PGI 245.602-70 for establishing and processing a plant L0:clearance case.

245.604 Sale of surplus personal property

Status: active

L0:245.604 Sale of surplus personal property.

L0:Follow the procedures at PGI 245.604 when selling surplus personal property.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45

L0:Defense FAR Supplement (DFARS) Part 245

252.245-7000 Government-furnished mapping, charting, and geodesy

Status: active

L0:252.245-7000 Government-furnished mapping, charting, and geodesy

L0:property.

L0:As prescribed in 245.107(2), use the following clause:

L0:GOVERNMENT-FURNISHED MAPPING, CHARTING, AND GEODESY

L0:PROPERTY (APR 2012)

L1:(a) Definition? Mapping, charting, and geodesy (MC&G) property means

L0:geodetic, geomagnetic, gravimetric, aeronautical, topographic, hydrographic,

L0:cultural, and toponymic data presented in the form of topographic, planimetric,

L0:relief, or thematic maps and graphics; nautical and aeronautical charts and

L0:publications; and in simulated, photographic, digital, or computerized formats.

L1:(b) The Contractor shall not duplicate, copy, or otherwise reproduce MC&G

L0:property for purposes other than those necessary for performance of the contract.

L1:(c) At the completion of performance of the contract, the Contractor, as directed

L0:by the Contracting Officer, shall either destroy or return to the Government all

L0:Government-furnished MC&G property not consumed in the performance of this

L0:contract.

L0:(End of clause)

252.245-7003 Contractor Property Management System Administration

Status: active

L0:252.245-7003 Contractor Property Management System Administration.

L0:As prescribed in 245.107(3), insert the following clause:

L0:CONTRACTOR PROPERTY MANAGEMENT SYSTEM ADMINISTRATION (JAN

L0:2025)

L1:(a) Definitions. As used in this clause?

L0:Acceptable property management system means a property system that complies

L0:with the system criteria in paragraph (c) of this clause.

L0:Material weakness means a deficiency or combination of deficiencies in the

L0:internal control over information in contractor business systems, such that there is

L0:a reasonable possibility that a material misstatement of such information will not

L0:be prevented, or detected and corrected, on a timely basis. A reasonable possibility

L0:exists when the likelihood of an event occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L0:Property management system means the Contractor's system or systems for

L0:managing and controlling Government property.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45

L0:Defense FAR Supplement (DFARS) Part 245

L1:(b) General. The Contractor shall establish and maintain an acceptable property

L0:management system. Failure to maintain an acceptable property management

L0:system, as defined in this clause, may result in disapproval of the system by the

L0:Contracting Officer and/or withholding of payments.

L1:(c) System criteria. The Contractor's property management system shall be in

L0:accordance with paragraphs (b) and (f) of the contract clause at Federal Acquisition

L0:Regulation 52.245-1.

L1:(d) Material weaknesses. (1) The Contracting Officer will provide an initial L0:determination to the Contractor, in writing, of any material weaknesses. The initial L0:determination will describe the underlying deficiency in sufficient detail to allow L0:the Contractor to understand the weaknesses or deficiency.

L1:(2) The Contractor shall respond within 30 days to a written initial L0:determination from the Contracting Officer that identifies material weaknesses in L0:the Contractor's property management system. If the Contractor disagrees with the L0:initial determination, the Contractor shall state, in writing, its rationale for L0:disagreeing.

L1:(3) The Contracting Officer will evaluate the Contractor's response and L0:notify the Contractor, in writing, of the Contracting Officer's final determination L0:concerning?

L1:(i) Remaining material weaknesses;

L1:(ii) The adequacy of any proposed or completed corrective action; and

L1:(iii) System disapproval, if the Contracting Officer determines that one L0:or more material weaknesses remain.

L1:(e) If the Contractor receives the Contracting Officer's final determination of L0:material weaknesses, the Contractor shall, within 45 days of receipt of the final L0:determination, either correct the material weaknesses or submit an acceptable L0:corrective action plan showing milestones and actions to eliminate the material L0:weaknesses.

L1:(f) Withholding payments. If the Contracting Officer makes a final L0:determination to disapprove the Contractor's property management system, and the L0:contract includes the clause at 252.242-7005, Contractor Business Systems, the L0:Contracting Officer will withhold payments in accordance with that clause.

L0:(End of clause)

252.245-7005 Management and Reporting of Government Property

Status: active

L0:252.245-7005 Management and Reporting of Government Property.

L0:As prescribed in 245.107(4), use the following clause:

L0:MANAGEMENT AND REPORTING OF GOVERNMENT PROPERTY (JAN 2024)

L1:(a) Definitions. As used in this clause?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45

L0:Defense FAR Supplement (DFARS) Part 245

L0:As is means that the Government makes no warranty with respect to the

L0:serviceability and/or suitability of the Government property for contract

L0:performance and that the Government will not pay for any repairs, replacement,

L0:and/or refurbishment of the property.

L0:Commercial and Government Entity (CAGE) code means?

L1:(1) An identifier assigned to entities located in the United States or its

L0:outlying areas by the Defense Logistics Agency (DLA) Commercial and Government

L0:Entity (CAGE) Branch to identify a commercial or government entity by unique

L0:location; or

L1:(2) An identifier assigned by a member of the North Atlantic Treaty

L0:Organization (NATO) or by the NATO Support and Procurement Agency (NSPA) to

L0:entities located outside the United States and its outlying areas that the DLA

L0:Commercial and Government Entity (CAGE) Branch records and maintains in the

L0:CAGE master file. This type of code is known as a NATO CAGE (NCAGE) code.

L0:Contractor-acquired property, contractor inventory, Government property,

L0:Government-furnished property, and loss of Government property have the meanings

L0:given in the Federal Acquisition Regulation (FAR) 52.245-1, Government Property,

L0:clause of this contract.

L0:Demilitarization means the act of eliminating the functional capabilities and

L0:inherent military design features from DoD personal property. Methods and degree

L0:range from removal and destruction of critical features to total destruction by

L0:cutting, tearing, crushing, mangling, shredding, melting, burning, etc.

L0:Export-controlled items has the meaning given in the Defense Federal

L0:Acquisition Regulation Supplement (DFARS) 252.225-7048, Export-Controlled

L0:Items, clause of this contract.

L0:Ineligible transferee means an individual, an entity, or a country?

L1:(1) Excluded from Federal programs by the General Services Administration

L0:as identified in the System for Award Management Exclusions located at

L0:<https://sam.gov>;

L1:(2) Delinquent on obligations to the U.S. Government under surplus sales

L0:contracts;

L1:(3) Designated by the Department of Defense as ineligible, debarred, or

L0:suspended from defense contracts; or

L1:(4) Subject to denial, debarment, or other sanctions under export control

L0:laws and related laws and regulations, and orders administered by the Department

L0:of State, the Department of Commerce, the Department of Homeland Security, or

L0:the Department of the Treasury.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45

L0:Defense FAR Supplement (DFARS) Part 245

L0:Item unique identification means a system of assigning, reporting, and marking

L0:DoD property with unique item identifiers that have machine-readable data

L0:elements to distinguish an item from all other like and unlike items.

L0:National stock number means a 13-digit stock number used to identify items of

L0:supply. It consists of a four-digit Federal Supply Code and a nine-digit National

L0:Item Identification Number.

L0:Reparable item means an item, typically in unserviceable condition, furnished to

L0:the contractor for maintenance, repair, modification, or overhaul.

L0:Scrap means property that has no value except for its basic material content. For

L0:purposes of demilitarization, scrap is defined as recyclable waste and discarded

L0:materials derived from items that have been rendered useless beyond repair,

L0:rehabilitation, or restoration such that the item's original identity, utility, form, fit,

L0:and function have been destroyed. Items can be classified as scrap if processed by

L0:cutting, tearing, crushing, mangling, shredding, or melting. Intact or recognizable

L0:components and parts are not ?scrap.?

L0:Serially-managed item means an item designated by DoD to be uniquely

L0:tracked, controlled, or managed in maintenance, repair, and/or supply systems by

L0:means of its serial number or unique item identifier.

L0:Serviceable or usable property means property with potential for reutilization or

L0:sale as is or with minor repairs or alterations.

L0:Supply condition code means a classification of materiel in terms of readiness for

L0:issue and use or to identify action underway to change the status of materiel.

L0:Unique item identifier (UII) means a set of data elements marked on an item

L0:that is globally unique and unambiguous. The term includes a concatenated UII or

L0:a DoD recognized unique identification equivalent.

L1:(b) Reporting Government property. (1) The Contractor shall use the

L0:Government Furnished Property (GFP) module of the Procurement Integrated

L0:Enterprise Environment (PIEE) to?

L1:(i) Report receipt of GFP;

L1:(ii) Report the transfer of GFP to another DoD contract;

L1:(iii) Report the shipment of GFP to the Government or to a contractor. The

L0:GFP module generates the electronic equivalent of the DD Form 1149, DD Form

L0:1348-1, or other required shipping documents;

L1:(iv) Report when serially-managed items of GFP are incorporated into a higher-

L0:level component, assembly, or end item;

L1:(v) Report the loss of Government property in accordance with paragraph

L3:(f)(1)(vii) of the FAR 52.245-1 clause of this contract;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45

L0:Defense FAR Supplement (DFARS) Part 245

L1:(vi) Complete the plant clearance inventory schedule in accordance with

L0:paragraph (j)(2) of the FAR 52.245-1 clause of this contract, unless disposition

L0:instructions are otherwise included in this contract. The GFP module generates the

L0:electronic equivalent of the Standard Form (SF) 1428, Inventory Disposal Schedule;

L0:and

L1:(vii) Submit a request to buy back or to convert to GFP items of Contractor-

L0:acquired property.

L1:(2) Information regarding the GFP module is available in the GFP Module

L0:Vendor Guide at <https://dodprocurementtoolbox.com/site-pages/gfp-resources>.

L0:Users may also register for access to the GFP module and obtain training on the

L0:PIEE home page at <https://piee.eb.mil>.

L1:(3) In complying with paragraphs (b)(1)(i) through (iv) of this clause, the

L0:Contractor shall report the updated status of the property to the GFP module

L0:within 7 business days of the date the change in status occurs, unless otherwise

L0:specified in the contract.

L1:(4) The Contractor shall use Wide Area WorkFlow in accordance with

L0:DFARS Appendix F, Material Inspection and Receiving Report, to report the

L0:shipment of reparable items after completion of repair, maintenance, modification,

L0:or overhaul.

L1:(5) When Government property is in the possession of subcontractors, the

L0:Contractor shall ensure that reporting is accomplished using the data elements
L0:required in paragraph (c) of this clause.

L1:(c) Records of Government property. To facilitate reporting of Government
L0:property to the GFP module, the Contractor's property records, in addition to the
L0:requirements of paragraph (f)(1)(iii) of the FAR 52.245-1 clause of this contract,
L0:shall enable recording of the following data elements:

L1:(1) National stock number (NSN). If an NSN is not available, use either the
L0:combination of the manufacturer's CAGE code and part number, or model number.

L1:(2) CAGE code on the accountable Government contract.

L1:(3) Received/sent (shipped) date.

L1:(4) Accountable Government contract number.

L1:(5) Serial number (for serially-managed items that do not have a UII); and

L1:(6) Supply condition code (only required for reporting of reparable items).

L0:For information on Federal supply condition codes, see DLM 4000.25, Defense
L0:Logistics Management Standards (DLMS), Volume 2, Supply Standards and
L0:Procedures, Appendix 2.5 at

L0:<https://www.dla.mil/HQ/InformationOperations/DLMS/elibrary/manuals/v2/>.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45

L0:Defense FAR Supplement (DFARS) Part 245

L1:(d) Marking, reporting, and UII registration of GFP requirements. The
L0:Contractor?

L1:(1) Shall assign the UII and mark the reparable items identified as serially
L0:managed in the GFP attachment to this contract with an item unique identification

L1:(IUID) data matrix, when the technical drawing for the item is accessible to the
L0:Contractor and includes IUID data matrix location and marking method;

L1:(2) Shall report the UII either before or during shipment of the repaired
L0:item;

L1:(3) Is not required to mark items that were previously marked with an IUID
L0:data matrix and registered in accordance with DFARS 252.211-7003, Item Unique
L0:Identification and Valuation; and

L1:(4) Shall assign a new UII, then mark and register the item, when the
L0:conditions of paragraph (d)(1) are met, if an item is found to be marked but not
L0:registered in the IUID Registry.

L1:(e) Disposing of Government property. (1) The Contractor shall complete the
L0:plant clearance inventory schedule using the plant clearance capability of the GFP
L0:module of the PIEE to generate an electronic equivalent of the SF 1428, Inventory
L0:Disposal Schedule. The plant clearance inventory schedule requires the following:

L1:(i) If known, the applicable Federal supply code (FSC) for all items,
L0:except items in scrap condition.

L1:(ii) If known, the manufacturer name for all aircraft components under
L0:Federal supply group 16 or 17 and FSCs 2620, 2810, 2915, 2925, 2935, 2945, 2995,
L0:4920, 5821, 5826, 5841, 6340, and 6615.

L1:(iii) The manufacturer name, make, model number, model year, and
L0:serial number for all aircraft under FSCs 1510 and 1520.

L1:(2) If the schedules are acceptable, the plant clearance officer will confirm

L0:acceptance in the GFP module plant clearance capability, which will transmit a
 L0:notification to the Contractor. The electronic acceptance is equivalent to the DD
 L0:Form 1637, Notice of Acceptance of Inventory.

L1:(f) Demilitarization, mutilation, and destruction. If demilitarization, mutilation,
 L0:or destruction of contractor inventory is required, the Contractor shall demilitarize,
 L0:mutilate, or destroy contractor inventory, in accordance with the terms and
 L0:conditions of the contract and consistent with Defense Demilitarization Manual,
 L0:DoD Manual (DoDM) 4160.28-M, edition in effect as of the date of this contract. If
 L0:the property is available for purchase, the plant clearance officer may authorize the
 L0:purchaser to demilitarize, mutilate, or destroy as a condition of sale provided the
 L0:property is not inherently dangerous to public health and safety.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45
 L0:Defense FAR Supplement (DFARS) Part 245

L1:(g) Classified Contractor inventory. The Contractor shall dispose of classified
 L0:contractor inventory in accordance with applicable security guides and regulations
 L0:or as directed by the Contracting Officer.

L1:(h) Inherently dangerous Contractor inventory. Contractor inventory that is
 L0:dangerous to public health or safety shall not be disposed of unless rendered
 L0:innocuous or until adequate safeguards are provided.

L1:(i) Contractor inventory located in foreign countries. Consistent with contract
 L0:terms and conditions, property disposition shall be in accordance with foreign and
 L0:U.S. laws and regulations, including laws and regulations involving export controls,
 L0:host nation requirements, final governing standards, and government-to-
 L0:government agreements. The Contractor's responsibility to comply with all
 L0:applicable laws and regulations regarding export-controlled items exists
 L0:independent of, and is not established or limited by, the information provided by
 L0:this clause.

L1:(j) Disposal of scrap?(1) Contractor scrap procedures.

L1:(i) The Contractor shall include, within its property management
 L0:procedure, a process for the accountability and management of Government-owned
 L0:scrap. The process shall, at a minimum, provide for the effective and efficient
 L0:disposition of scrap, including sales to scrap dealers, so as to minimize costs,
 L0:maximize sales proceeds, and contain the necessary internal controls for mitigating
 L0:the improper release of non-scrap property.

L1:(ii) The Contractor may commingle Government and contractor-owned
 L0:scrap and provide routine disposal of scrap, with plant clearance officer
 L0:concurrence, when determined to be effective and efficient.

L1:(2) Scrap warranty. The plant clearance officer may require the Contractor
 L0:to secure from scrap buyers a DD Form 1639, Scrap Warranty.

L1:(k) Sale of surplus Contractor inventory?

L1:(1) Sales procedures.

L1:(i) The Contractor shall conduct sales of contractor inventory (both
 L0:useable property and scrap) in accordance with the requirements of this contract
 L0:and plant clearance officer direction. The Contractor shall include in its invitation
 L0:for bids the sales terms and conditions provided by the plant clearance officer.

L1:(ii) The Contractor may conduct internet-based sales, to include use of a
L0:third party.

L1:(iii) If the Contractor wishes to bid on the sale, the Contractor or its
L0:employees shall submit bids to the plant clearance officer prior to soliciting bids
L0:from other prospective bidders.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45
L0:Defense FAR Supplement (DFARS) Part 245

L1:(iv) The Contractor shall solicit bids to obtain adequate competition.
L0:Negotiated sales are subject to obtaining such competition as is feasible under the
L0:circumstances of the negotiated sale.

L1:(v) The Contractor shall solicit bids at least 15 calendar days before bid
L0:opening to allow adequate opportunity to inspect the property and prepare bids.

L1:(vi) For large sales, the Contractor may use summary lists of items offered as bid
L0:sheets with detailed descriptions attached.

L1:(vii) In addition to providing notice of the proposed sale to prospective
L0:bidder, the Contractor may, when the results are expected to justify the additional
L0:expense, display a notice of the proposed sale in appropriate public places, e.g.,
L0:publish a sales notice on the internet, in appropriate trade journals or magazines,
L0:and in local newspapers.

L1:(viii) The plant clearance officer or designated Government
L0:representative will witness the bid opening. The Contractor shall submit the bid
L0:abstract in electronic format to the plant clearance officer within 2 days of bid
L0:opening. If the Contractor is unable to submit the bid abstract electronically, the
L0:Contractor may submit 2 copies of the abstract manually within 2 days of bid
L0:opening. The plant clearance officer will not approve award to any bidder who is an
L0:ineligible transferee.

L1:(2) Required terms and conditions for sales contracts. The Contractor shall
L0:include the following terms and conditions in sales contracts:

L1:(i) For sales contracts or other documents transferring title:
L0:?"The Purchaser certifies that the property covered by this contract will be used
L0:in [insert name of country]. In the event of resale or export by the Purchaser of
L0:any of the property, the Purchaser agrees to obtain the appropriate U.S. and
L0:foreign export or re-export license approval.?"

L1:(ii) For sales contracts that require demilitarization, mutilation, or
L0:destruction of property:
L0:?"The following items [insert list provided by plant clearance officer] require
L0:demilitarization, mutilation, or destruction by the Purchaser. Additional
L0:instructions are provided in accordance with Defense Demilitarization Manual,
L0:DoDM 4160.28-M, edition in effect as of the date of this sales contract. A
L0:Government representative will certify and verify demilitarization of items.
L0:Prepare demilitarization certificates in accordance with DoDM 4160.28, Volume
L0:2, section 4.5, DEMIL Certificate (see figure 2, Example DEMIL Certificate).?"

L1:(iii) Removal and title transfer:
L0:?"Property requiring demilitarization shall not be removed, and title shall not
L0:pass to the Purchaser, until demilitarization has been accomplished and verified

L0:by a Government representative.?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45

L0:Defense FAR Supplement (DFARS) Part 245

L1:(iv) Assumption of cost incident to demilitarization:

L0:~The Purchaser agrees to assume all costs incident to the demilitarization and to

L0:restore the working area to its present condition after removing the

L0:demilitarized property.?

L1:(v) Failure to demilitarize:

L0:~If the Purchaser fails to demilitarize, mutilate, or destroy the property as

L0:specified in the sales contract, the Contractor may, upon giving 10 days written

L0:notice to the Purchaser?

L1:(A) Repossess, demilitarize, and return the property to the

L0:Purchaser, in which case the Purchaser hereby agrees to pay to the Contractor,

L0:prior to the return of the property, all costs incurred by the Contractor in

L0:repossessing, demilitarizing, and returning the property;

L1:(B) Repossess, demilitarize, and resell the property, and charge the

L0:defaulting Purchaser with all costs incurred by the Contractor. The Contractor

L0:shall deduct these costs from the purchase price and refund the balance of the

L0:purchase price, if any, to the Purchaser. In the event the costs exceed the purchase

L0:price, the defaulting Purchaser hereby agrees to pay these costs to the Contractor;

L0:or

L1:(C) Repossess and resell the property under similar terms and

L0:conditions and charge the defaulting Purchaser with all costs incurred by the

L0:Contractor. The Contractor shall deduct these costs from the original purchase price

L0:and refund the balance of the purchase price, if any, to the defaulting Purchaser.

L0:Should the excess costs to the Contractor exceed the purchase price, the defaulting

L0:Purchaser hereby agrees to pay these costs to the Contractor.?

L1:(I) Restrictions on purchase or retention of Contractor inventory. The Contractor

L0:may not knowingly sell the inventory to any person or that person's agent,

L0:employee, or household member if that person?

L1:(1) Is a civilian employee of DoD or the U.S. Coast Guard;

L1:(2) Is a member of the Armed Forces of the United States, including the

L0:U.S. Coast Guard; or

L1:(3) Has any functional or supervisory responsibilities for or within DoD's

L0:property disposal, disposition, or plant clearance programs or for the disposal of

L0:contractor inventory.

L1:(m) Proceeds from sales of surplus property. Unless otherwise provided in the

L0:contract, the proceeds of any sale, purchase, or retention shall be?

L1:(1) Forwarded to the Contracting Officer;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45

L0:Defense FAR Supplement (DFARS) Part 245

L1:(2) Credited to the Government as part of the settlement agreement

L0:pursuant to the termination of the contract;

L1:(3) Credited to the price or cost of the contract; or

L1:(4) Applied as otherwise directed by the Contracting Officer.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45

L0:Defense FAR Supplement (DFARS) Part 245

L0:PGI Part 245?GOVERNMENT PROPERTY

L0:PGI 245.1?GENERAL

L0:PGI 245.102-70 Policy.

L1:(1) A basic principle of the Federal Acquisition Regulations System is that, upon

L0:contract award, contractors bring all the necessary organization, experience, accounting

L0:and operational controls, property, and technical skills, or the ability to obtain them

L0:(reference FAR 9.104-1 (e), (f), and (g) of General Standards). Therefore, upon

L0:contract award, responsible contractors should have the means to provide effective and

L0:efficient stewardship of Government property.

L1:(2) Government property, as defined at FAR 45.101, must be contractually

L0:accountable to a single contract and only one contract at a time. This requirement

L0:applies to both Government-furnished property and contractor-acquired property.

L0:Although accountable to only one contract at a time, contract terms and conditions may

L0:allow Government property to be used on other contracts (see FAR 52.245-9, Use and

L0:Charges).

L0:PGI 245.103 General.

L0:PGI 245.103-70 Furnishing Government property to contractors.

L1:(1) The requiring activity (project or program manager, or purchase request

L0:generator), as part of its responsibility for acquisition planning (FAR part 7, Acquisition

L0:Planning), is the decision point as to whether or not to furnish property to contractors.

L0:The basis for any decision to provide Government property must be documented by the

L0:requiring activity and provided to the contracting officer. Such documentation is not

L0:required when contractors are furnished property for repair, modification, or overhaul

L0:under a contract.

L1:(2) Prior to furnishing Government property to the contractor, the contracting officer

L0:must ensure that each of the requirements of FAR 45.102 are addressed as follows,

L0:and documented in the contracting file?

L1:(i) Element 1: In the Government?s best interest. Discussion should be specific,

L0:factual, and where necessary, address actual or projected dollars and percentages.

L0:Merely selecting one or two objectives supported by a general, perfunctory discussion

L0:does not address this element satisfactorily. Discussion should address the following

L0:factors:

L1:(A) Economy - Furnishing Government property is the lowest cost or price

L0:alternative.

L1:(B) Standardization - There is a critical need for precise replication.

L1:(C) Security - Government property is needed due to national security

L0:issues/concerns.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45

L0:Defense FAR Supplement (DFARS) Part 245

L1:(D) Expedite production - Government property is crucial to achieving

L0:timely or accelerated delivery of a supply item or service.

L1:(E) Scarcity - The Government can obtain scarce items or is the only

L0:source of property necessary for successful execution of a contract.

L1:(F) Maintain the industrial base - Government property is needed to ensure

L0:future capability to obtain a particular supply item or service.

L1:(G) Contract type - Government property will enable the Government to

L0:obtain a more favorable contract type.

L1:(ii) Element 2: Overall benefit. Demonstrate that the overall benefit to

L0:the acquisition significantly outweighs the increased cost of administration, including

L0:property disposal.

L1:(A) Property in the hands of contractors drives program costs.

L0:Therefore, in order to make the case that providing Government property to the

L0:contractor is worthwhile, the associated costs must be considered and the business

L0:decision justified. The costs of Government property removal and disposal, including

L0:demilitarization and disposal of environmentally-regulated property, must be included.

L1:(B) Costs must be either less than what the contractor might

L0:otherwise incur, or the demonstrated benefit to the Government must outweigh these

L0:additional contract costs.

L1:(iii) Element 3: Government assumption of risk. Demonstrate that providing the

L0:property does not substantially increase the Government's risk.

L1:(A) Risk must be discussed and documented. A risk analysis is warranted

L0:to demonstrate that the Government is not substantially increasing its risk. For

L0:example, when furnishing Government property, the Government is ordinarily

L0:responsible for suitability of use, timely delivery, and replacement of defective

L0:Government property.

L1:(B) Other risks may need to be considered, discussed, and documented.

L1:(iv) Element 4: Government requirements cannot otherwise be met. Document

L0:why the furnishing of Government property is critical and significant to meeting

L0:acquisition plan objectives.

L0:PGI 245.103-71 Transferring Government property accountability.

L1:(1) Use only the Standard Form 30 to execute transfers of Government property

L0:accountability between existing contracts. No other forms or documents, such as the

L0:DD Form 1149, Requisition and Invoice/Shipping Document, are authorized for the

L0:transfer of Government property accountability from one contract to another.

L1:(2) Modifications for the transfer of Government property accountability must:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45

L0:Defense FAR Supplement (DFARS) Part 245

L1:(i) Use the Government-furnished property (GFP) attachment prescribed at

L0:PGI 245.103-72.

L1:(ii) Incorporate FAR clauses 52.245-1, Government Property, and 52.245-9,

L0:Use and Charges, and the associated DFARS clauses (see 245.107, Contract clauses)

L0:to the extent that the gaining contract lacks the required clauses.

L0:PGI 245.103-72 Government-furnished property attachments to solicitations and

L0:awards.

L1:(a) When Government-furnished property (GFP) is anticipated, create the GFP

L0:attachment in the GFP module of the Procurement Integrated Enterprise Environment

L1:(PIEE) at <https://piee.eb.mil/piee-landing> to?

L1:(1) Specify the required GFP data elements; and
L1:(2) Identify GFP serially-managed items, GFP nonserially-managed items, and
L0:GFP items that may be requisitioned from the DoD supply system by the contractor; and
L1:(3) Accomplish the electronic transmission of the GFP attachment to the
L0:contract in the Electronic Data Access application in the PIEE.
L1:(4) Where the GFP attachment is classified, the PIEE GFP Module must not be
L0:used, but a property attachment with similar data is required for the contract.
L1:(b) Classified contracts are not exempt from including GFP attachments solely
L0:because the contracts are classified.
L1:(c) For more information on the GFP attachments,
L0:see <https://dodprocurementtoolbox.com/site-pages/gfp-attachments>.
L0:PGI 245.103-73 Government property under sustainment contracts.
L1:(1) Sustainment contracts, including those for performance-based logistics,
L0:sustainment support, contractor logistics support, life-cycle product support, contractor
L0:inventory control points, and weapon systems product support (see 10 U.S.C. 4324(d)),
L0:may require the contractor to hold or manage Government inventory. In such cases,
L0:regularly scheduled (typically, semiannually) inventory reporting from the contractor is
L0:required to ensure that inventory levels meet program requirements and Government
L0:inventory in excess of authorized amounts is identified. The requiring activity is
L0:responsible for providing the contracting officer with reporting requirements for
L0:Government inventory. See the Data Item Description DI-PSSS-80727A, Government
L0:Furnished Material (GFM) by National Stock Number, and the instructions for
L0:completing the DD Form 1423 Contract Data Requirements List (CDRL) for inventory
L0:reporting requirements on sustainment contracts available at
L0:<http://dodprocurementtoolbox.com/site-pages/gfp-resources>.
L1:(2) During acquisition planning, pricing contracts, exercising options, and assessing
L0:past performance, contracting officers should review the requiring activity's assessment
L0:of the information generated by the inventory reporting requirements.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 45
L0:Defense FAR Supplement (DFARS) Part 245
L1:(3) In some circumstances, under fixed-price sustainment contracts, contract
L0:deliverables consist of non-hardware items, such as operational readiness rate goals or
L0:mean time between failures of a system. In order to meet these deliverables,
L0:contractors are required to provide certain property items to the Government. In such
L0:cases, the contract does not include specific delivery line items requiring formal delivery
L0:of the property. By extension, the Government will not have title to the property at the
L0:time the contractor provides the property. Not separately priced line items must be
L0:included in the contract for the delivery of items in accordance with FAR 4.1003. Tables
L0:of unit acquisition prices may be included in the contract to use as the unit price on the
L0:receiving report.
L0:PGI 245.103-74 Contracting office responsibilities.
L1:(1) Prepare the GFP attachments in accordance with the procedures in PGI

PART 46

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

246.101 Definitions

Status: active

L0:246.101 Definitions.

L0:As used in this subpart?

L0:?Discipline Working Group? is defined in the clause at 252.246-7004, Safety of

L0:Facilities, Infrastructure, and Equipment for Military Operations.

246.102 Policy

Status: active

L0:246.102 Policy.

L0:Departments and agencies must also?

L1:(1) Develop and manage a systematic, cost-effective Government contract

L0:quality assurance program to ensure that contract performance conforms to

L0:specified requirements. Apply Government quality assurance to all contracts for

L0:services and products designed, developed, purchased, produced, stored, distributed,

L0:operated, maintained, or disposed of by contractors.

L1:(2) Conduct quality audits to ensure the quality of products and services meet

L0:contractual requirements.

L1:(3) Base the type and extent of Government contract quality assurance actions

L0:on the particular acquisition.

L1:(4) Provide contractors the maximum flexibility in establishing efficient and

L0:programs may be modeled on military, commercial, national, or international

L0:quality standards.

246.103 Contracting office responsibilities

Status: active

L0:246.103 Contracting office responsibilities.

L1:(1) The contracting office must coordinate with the quality assurance activity

L0:before changing any quality requirement.

L1:(2) The activity responsible for technical requirements may prepare instructions

L0:covering the type and extent of Government inspections for acquisitions that are

L0:complex, have critical applications, or have unusual requirements. Follow the

L0:procedures at PGI 246.103(2) for preparation of instructions.

246.201 General

Status: active

L0:246.201 General.

246.201-70 Subsistence

Status: active

L0:246.201-70 Subsistence.

L0:See PGI 246.201-70 for contract quality requirements for subsistence.

246.201-71 Aircraft

Status: active

L0:246.201-71 Aircraft.

L0:See PGI 246.201-71 for contracting office responsibilities related to aircraft.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

246.202 Types of contract quality requirements

Status: active

L0:246.202 Types of contract quality requirements.

246.202-4 Higher-level contract quality requirements

Status: active

L0:246.202-4 Higher-level contract quality requirements.

L1:(1) Higher-level contract quality requirements are used in addition to a

L0:standard inspection requirement.

L1:(2) Higher-level contract quality requirements, including nongovernment

L0:quality system standards adopted to meet DoD needs, are listed in the DoD Index of

L0:Specifications and Standards.

246.270 Safety of facilities, infrastructure, and equipment for military

Status: active

L0:246.270 Safety of facilities, infrastructure, and equipment for military

L0:operations.

246.270-1 Scope

Status: active

L0:246.270-1 Scope.

L0:This section establishes policies and procedures intended to ensure the safety and

L0:habitability of facilities, infrastructure, and equipment acquired for use by DoD

L0:military or civilian personnel during military operations performed outside the

L0:United States, Guam, Puerto Rico, and the Virgin Islands (section 807 of the

L0:National Defense Authorization Act for Fiscal Year 2010 (Pub. L. 111-84).

246.270-2 Policy

Status: active

L0:246.270-2 Policy.

L1:(a) Contracts (including task and delivery orders) for the construction,

L0:installation, repair, maintenance, or operation of facilities, infrastructure, and

L0:equipment configured for occupancy, including but not limited to, existing host

L0:nation facilities, new construction, and relocatable buildings acquired for use by

L0:DoD military or civilian personnel, must require a pre-occupancy safety and

L0:habitability inspection.

L1:(b) To minimize safety and health risks, each contract covered by this policy

L0:must require the contractor's compliance with the Unified Facilities Criteria (UFC)

L0:1-200-01 and its referenced standards for?

L1:(1) Fire protection;

L1:(2) Structural integrity;

L1:(3) Electrical systems;

L1:(4) Plumbing;

L1:(5) Water treatment;

L1:(6) Waste disposal; and

L1:(7) Telecommunications networks.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L1:(c) Existing host nation facilities constructed to standards equivalent to or more

L0:stringent than UFC 1-200-01 are acceptable upon a written determination of the

L0:acceptability of the standards by the Discipline Working Group.

L1:(d) Inspections to ensure compliance with UFC 1-200-01 standards must be

L0:conducted in accordance with the inspection clause of the contract.

246.270-3 Exceptions

Status: active

L0:246.270-3 Exceptions.

L0:The combatant commander may waive compliance with the foregoing standards

L0:when it is impracticable to comply with such standards under prevailing

L0:operational conditions.

246.270-4 Contract clause

Status: active

L0:246.270-4 Contract clause.

L0:Insert the clause at 252.246-7004, Safety of Facilities, Infrastructure, and

L0:Equipment for Military Operations, in solicitations and contracts, including

L0:solicitations and contracts using FAR part 12 procedures for the acquisition of

L0:commercial products and commercial services, for the construction, installation,

L0:repair, maintenance, or operation of facilities, infrastructure, or for equipment

L0:configured for occupancy, planned for use by DoD military or civilian personnel

L0:during military operations.

246.370 Notification of potential safety issues

Status: active

L0:246.370 Notification of potential safety issues.

L1:(a) Insert the clause at 252.246-7003, Notification of Potential Safety Issues, in

L0:solicitations and contracts, including solicitations and contracts using FAR part 12

L0:procedures for the acquisition of commercial products and commercial services, for

L0:the acquisition of?

L1:(1) Repairable or consumable parts identified as critical safety items;

L1:(2) Systems and subsystems, assemblies, and subassemblies integral to a

L0:system; or

L1:(3) Repair, maintenance, logistics support, or overhaul services for systems

L0:and subsystems, assemblies, subassemblies, and parts integral to a system.

L1:(b) Follow the procedures at PGI 246.370 for the handling of notifications

L0:received under the clause at 252.246-7003.

246.401 General

Status: active

L0:246.401 General.

L0:The requirement for a quality assurance surveillance plan must be addressed and

L0:documented in the contract file for each contract except for those awarded using

L0:simplified acquisition procedures. For contracts for services, the contracting officer

L0:should prepare a quality assurance surveillance plan to facilitate assessment of

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L0:contractor performance, see 237.172. For contracts for supplies, the contracting

L0:officer should address the need for a quality assurance surveillance plan.

246.402 Government contract quality assurance at source

Status: active

L0:246.402 Government contract quality assurance at source.

L0:Do not require Government contract quality assurance at source for contracts or

L0:delivery orders valued below \$400,000, unless?

L1:(1) Mandated by DoD regulation;

L1:(2) Required by a memorandum of agreement between the acquiring

L0:department or agency and the contract administration agency; or

L1:(3) The contracting officer determines that?

L1:(i) Contract technical requirements are significant (e.g., the technical

L0:requirements include drawings, test procedures, or performance requirements);

L1:(ii) The product being acquired?

L1:(A) Has critical characteristics;

L1:(B) Has specific features identified that make Government contract

L0:quality assurance at source necessary; or

L1:(C) Has specific acquisition concerns identified that make Government

L0:contract quality assurance at source necessary; and

L1:(iii) The contract is being awarded to?

L1:(A) A manufacturer or producer; or

L1:(B) A non-manufacturer or non-producer and specific Government

L0:verifications have been identified as necessary and feasible to perform.

246.404 Government contract quality assurance for acquisitions at or

Status: active

L0:246.404 Government contract quality assurance for acquisitions at or

L0:below the simplified acquisition threshold.

L0:Do not require Government contract quality assurance at source for contracts or

L0:delivery orders valued at or below the simplified acquisition threshold unless the

L0:criteria at 246.402 have been met.

246.406 Foreign governments

Status: active

L0:246.406 Foreign governments.

L1:(1) Quality assurance among North Atlantic Treaty Organization (NATO)

L0:countries.

L1:(i) NATO Standardization Agreement (STANAG) 4107, Mutual Acceptance

L0:of Government Quality Assurance and Usage of the Allied Quality Assurance

L0:Publications?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L1:(A) Contains the processes, procedures, terms, and conditions under

L0:which one NATO member nation will perform quality assurance for another NATO
L0:member nation or NATO organization;
L1:(B) Standardizes the development, updating, and application of the
L0:Allied Quality Assurance Publications; and
L1:(C) Has been ratified by the United States and other nations in NATO
L0:with certain reservations identified in STANAG 4107.
L1:(ii) Departments and agencies must follow STANAG 4107 when?
L1:(A) Asking a NATO member nation to perform quality assurance; or
L1:(B) Performing quality assurance when requested by a NATO member
L0:nation or NATO organization.
L1:(2) International military sales (non-NATO). Departments and agencies must?
L1:(i) Perform quality assurance services on international military sales
L0:contracts or in accordance with existing agreements;
L1:(ii) Inform host or U.S. Government personnel and contractors on the use of
L0:quality assurance publications; and
L1:(iii) Delegate quality assurance to the host government when satisfactory
L0:services are available.
L1:(3) Reciprocal quality assurance agreements. A Memorandum of Understanding
L1:(MOU) with a foreign country may contain an annex that provides for the reciprocal
L0:performance of quality assurance services. MOUs should be checked to determine
L0:whether such an annex exists for the country where a defense contract will be
L0:performed. (See Subpart 225.8 for more information about MOUs.)

246.407-70 Nonconforming supplies or services

Status: active

L0:246.407-70 Nonconforming supplies or services.
L1:(a) If nonconforming material or services are discovered after acceptance, the
L0:defect appears to be the fault of the contractor, any warranty has expired, and there
L0:are no other contractual remedies, the contracting officer?
L1:(1) Must notify the contractor in writing of the nonconforming material or
L0:service;
L1:(2) Must request that the contractor repair or replace the material, or
L0:perform the service, at no cost to the Government; and
L1:(3) May accept consideration if offered. For guidance on solicitation of a
L0:refund, see subpart 242.71.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46
L0:Defense FAR Supplement (DFARS) Part 246
L1:(b) The head of the design control activity is the approval authority for
L0:acceptance of any nonconforming aviation or ship critical safety items or
L0:nonconforming modification, repair, or overhaul of such items (see 209.270).
L1:(c) Authority for acceptance of minor nonconformances in aviation or ship
L0:critical safety items may be delegated as determined appropriate by the design
L0:control activity. See additional information at PGI 246.407.

246.470 Government contract quality assurance actions

Status: active

L0:246.470 Government contract quality assurance actions.

246.470-1 Assessment of additional costs

Status: active

L0:246.470-1 Assessment of additional costs.

L1:(a) Under the clause at FAR 52.246-2, Inspection of Supplies?Fixed-Price, after

L0:considering the factors in paragraph (c) of this section, the quality assurance

L0:representative (QAR) may believe that the assessment of additional costs is

L0:warranted. If so, the representative must recommend that the contracting officer

L0:take the necessary action and provide a recommendation as to the amount of

L0:additional costs. Costs are based on the applicable Federal agency, foreign military

L0:sale, or public rate in effect at the time of the delay, reinspection, or retest.

L1:(b) If the contracting officer agrees with the QAR, the contracting officer must?

L1:(1) Notify the contractor, in writing, of the determination to exercise the

L0:Government's right under the clause at FAR 52.246-2, Inspection of Supplies?

L0:Fixed-Price; and

L1:(2) Demand payment of the costs in accordance with the collection

L0:procedures contained in FAR Subpart 32.6.

L1:(c) In making a determination to assess additional costs, the contracting officer

L0:must consider?

L1:(1) The frequency of delays, reinspection, or retest under both current and

L0:prior contracts;

L1:(2) The cause of such delay, reinspection, or retest; and

L1:(3) The expense of recovering the additional costs.

246.470-2 Quality evaluation data

Status: active

L0:246.470-2 Quality evaluation data.

L0:The contract administration office must establish a system for the collection,

L0:evaluation, and use of the types of quality evaluation data specified in PGI 246.470-

L0:2.

246.471 Authorizing shipment of supplies

Status: active

L0:246.471 Authorizing shipment of supplies.

L1:(a) General.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L1:(1) Ordinarily, a representative of the contract administration office signs or
L0:stamps the shipping papers that accompany Government source-inspected supplies

L0:to release them for shipment. This is done for both prime and subcontracts.

L1:(2) An alternative procedure (see paragraph (b) of this section) permits the
L0:contractor to assume the responsibility for releasing the supplies for shipment.

L1:(3) The alternative procedure may include prime contractor release of
L0:supplies inspected at a subcontractor's facility.

L1:(4) The use of the alternative procedure releases DoD manpower to perform
L0:technical functions by eliminating routine signing or stamping of the papers
L0:accompanying each shipment.

L1:(b) Alternative Procedures?Contract Release for Shipment.

L1:(1) For foreign military sales contracts, do not use alternative procedures.

L1:(2) The contract administration office may authorize, in writing, the
L0:contractor to release supplies for shipment when?

L1:(i) The stamping or signing of the shipping papers by a representative of
L0:the contract administration office interferes with the operation of the Government
L0:contract quality assurance program or takes too much of the Government
L0:representative's time;

L1:(ii) There is sufficient continuity of production to permit the Government
L0:to establish a systematic and continuing evaluation of the contractor's control of
L0:quality; and

L1:(iii) The contractor has a record of satisfactory quality, including that
L0:pertaining to preparation for shipment.

L1:(3) The contract administration office must withdraw, in writing, the
L0:authorization when there is an indication that the conditions in paragraph (b)(2) of
L0:this section no longer exist.

L1:(4) When the alternative procedure is used, require the contractor to?

L1:(i) Type or stamp, and sign, the following statement on the required copy
L0:or copies of the shipping paper(s), or on an attachment?

L0:The supplies in this shipment?

L0:1. Have been subjected to and have passed all examinations and
L0:tests required by the contract;

L0:2. Were shipped in accordance with authorized shipping
L0:instructions;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L0:3. Conform to the quality, identity, and condition called for by the
L0:contract; and

L0:4. Are of the quantity shown on this document.

L0:This shipment was?

L0:1. Released in accordance with section 246.471 of the Defense FAR
L0:Supplement; and

L0:2. Authorized by (name and title of the authorized representative of
L0:the contract administration office) in a letter dated (date of

L0:authorizing letter). (Signature and title of contractor's designated
L0:official.)
L1:(ii) Release and process, in accordance with established instructions, the DD
L0:Form 250, Material Inspection and Receiving Report, or other authorized receiving
L0:report.

246.472 Inspection stamping

Status: active

L0:246.472 Inspection stamping.
L1:(a) See PGI 246.472 (a) for use of DoD inspection stamps.
L1:(b) Policies and procedures regarding the use of National Aeronautics and Space
L0:Administration (NASA) quality status stamps are contained in NASA publications.
L0:When requested by NASA centers, the DoD inspector must use NASA quality status
L0:stamps in accordance with current NASA requirements.

246.504 Certificate of conformance

Status: active

L0:246.504 Certificate of conformance.
L0:Before authorizing a certificate of conformance for aviation or ship critical safety
L0:items, obtain the concurrence of the head of the design control activity
L0:(see 209.270).

246.601 General

Status: active

L0:246.601 General.
L0:See Appendix F, Material Inspection and Receiving Report, for procedures and
L0:instructions for the use, preparation, and distribution of?
L1:(1) The Material Inspection and Receiving Report (DD Form 250 series); and
L1:(2) Supplier's commercial shipping/packing lists used to evidence Government
L0:contract quality assurance.

246.702 General

Status: active

L0:246.702 General.

246.702-70 Definitions

Status: active

L0:246.702-70 Definitions.

L0:As used in this subpart?

L0:Acceptance, as used in the warranty clauses at FAR 52.246-17, Warranty of

L0:Supplies of a Noncomplex Nature; FAR 52.246-18, Warranty of Supplies of a

L0:Complex Nature; FAR 52.246-19, Warranty of Systems and Equipment Under

L0:Performance Specifications or Design Criteria; and FAR 52.246-20, Warranty of

L0:Services, includes the execution of an official document (e.g., DD Form 250,

L0:Material Inspection and Receiving Report) by an authorized representative of the

L0:Government.

L0:Defect means any condition or characteristic in any supply or service furnished

L0:by the contractor under the contract that is not in compliance with the

L0:requirements of the contract.

L0:Enterprise means the entity (e.g., a manufacturer or vendor) responsible for

L0:granting the warranty and/or assigning unique item identifiers to serialized

L0:warranty items.

L0:Enterprise identifier means a code that is uniquely assigned to an enterprise

L0:by an issuing agency.

L0:Issuing agency means an organization responsible for assigning a globally

L0:unique identifier to an enterprise, as indicated in the Register of Issuing Agency

L0:Codes for International Standards Organization/International Electrotechnical

L0:Commission 15459, located at http://www.aimglobal.org/?Reg_Authority15459.

L0:Serialized item means each item produced is assigned a serial number that is

L0:unique among all the collective tangible items produced by the enterprise, or each

L0:item of a particular part, lot, or batch number is assigned a unique serial number

L0:within that part, lot, or batch number assignment within the enterprise identifier.

L0:The enterprise is responsible for ensuring unique serialization within the enterprise

L0:identifier or within the part, lot, or batch numbers, and that serial numbers, once

L0:assigned, are never used again.

L0:Unique item identifier means a set of data elements marked on an item that is

L0:globally unique and unambiguous.

L0:Warranty tracking means the ability to trace a warranted item from delivery

L0:through completion of the effectivity of the warranty.

246.703 Criteria for use of warranties

Status: active

L0:246.703 Criteria for use of warranties.

246.703-1 Authority for use of warranties

Status: active

L0:246.703-1 Authority for use of warranties.

L1:(1) The chief of the contracting office must approve use of a warranty, except in

L0:acquisitions for?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46
L0:Defense FAR Supplement (DFARS) Part 246
L1:(i) Commercial products or commercial services (see FAR part 12);
L1:(ii) Technical data, unless the warranty provides for extended liability
L0:(see 246.708);
L1:(iii) Supplies and services in fixed-price type contracts containing quality
L0:assurance provisions that reference higher-level contract quality requirements
L0:(see 246.202-4); or
L1:(iv) Supplies and services in construction contracts when using the
L0:warranties that are contained in Federal, military, or construction guide
L0:specifications.
L1:(2) The chief of the contracting office must approve the use of a warranty only
L0:when the benefits are expected to outweigh the cost.

246.705 Limitations

Status: active

L0:246.705 Limitations.
L1:(a) In addition to the exceptions provided in FAR 46.705(a), warranties in the
L0:clause at 252.246-7XXX Warranty of Data, may be used in cost-reimbursement
L0:contracts.

246.706 Warranty terms and conditions

Status: active

L0:246.706 Warranty terms and conditions.
L2:(b)(5) Markings. For other than commercial products, use MIL-STD-129,
L0:Marking for Shipments and Storage, and MIL-STD-130, Identification Marking of
L0:U.S. Military Property, when marking warranty items.

246.708 Warranties of data

Status: active

L0:246.708 Warranties of data.
L0:Obtain warranties on technical data when practicable and cost effective. Consider
L0:the factors in FAR 46.703 in deciding whether to obtain warranties of technical
L0:data. Consider the following in deciding whether to use extended liability
L0:provisions?
L1:(1) The likelihood that correction or replacement of the nonconforming data, or a
L0:price adjustment, will not give adequate protection to the Government; and
L1:(2) The effectiveness of the additional remedy as a deterrent against furnishing
L0:nonconforming data.

246.710 Contract clauses

Status: active

L0:246.710 Contract clauses.

L1:(1) Insert a clause substantially the same as the basic or one of the alternates of L0:the clause at 252.246-7998, Warranty of Data, in solicitations and contracts that L0:include the clause at 252.227-7989 Rights in Technical Data, Computer Software, L0:and Computer Software Documentation?Other Than Commercial Products or L0:Commercial Services, , when there is a need for greater protection or period of L0:liability than provided by the inspection and warranty clauses prescribed in FAR L0:part 46.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L1:(i) Insert the basic clause in solicitations and contracts that are not firm- L0:fixed price or fixed-price incentive.

L1:(ii) Insert alternate I in fixed-price-incentive solicitations and contracts.

L1:(iii) Insert alternate II in firm-fixed-price solicitations and contracts.

L1:(2) Insert the clause at 252.246-7002 , Warranty of Construction (Germany), L0:instead of the clause at FAR 52.246-21, Warranty of Construction, in solicitations L0:and contracts for construction when a fixed-price contract will be awarded and L0:contract performance will be in Germany.

L1:(3) When the solicitation includes the clause at 252.211-7003 , Item Unique L0:Identification and Valuation, which is prescribed in 211.274-5 (a), and it is L0:anticipated that the resulting contract will include a warranty for serialized items?

L1:(i) Insert the provision at 252.246-7005 , Notice of Warranty Tracking of L0:Serialized Items, in the solicitation if the Government does not specify a warranty L0:and offerors will be required to enter data with the offer;

L1:(ii) Insert the clause at 252.246-7006 , Warranty Tracking of Serialized L0:Items, in the solicitation and contract; and

L1:(iii) Include the following warranty attachments, available at L0:https://www.pdrep.csd.disa.mil/pdrep_files/other/wsr.htm, in the solicitation and L0:contract and see 246.710-70:

L1:(A) Warranty Tracking Information.

L1:(B) Source of Repair Instructions.

246.710-70 Warranty attachments

Status: active

L0:246.710-70 Warranty attachments.

L0:Follow the procedures at PGI 246.710-70 regarding warranty attachments.

246.870 Contractors Counterfeit Electronic Part Detection and Avoidance

Status: active

L0:246.870 Contractors Counterfeit Electronic Part Detection and Avoidance.

246.870-0 Scope

Status: active

L0:246.870-0 Scope.

L0:This section?

L1:(a) Partially implements section 818(c) and (e) of the National Defense

L0:Authorization Act (NDAA) for Fiscal Year (FY) 2012 (Pub. L. 112-81), section 817 of

L0:the NDAA for FY 2015 (Pub. L. 113-291) and section 885 of the NDAA for 2016

L0:(Pub. L. 114-92); and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L1:(b) Prescribes policy and procedures for preventing counterfeit electronic parts

L0:and suspect counterfeit electronic parts from entering the supply chain when

L0:procuring electronic parts or end items, components, parts, or assemblies that

L0:contain electronic parts.

246.870-1 Definition

Status: active

L0:246.870-1 Definition.

L0:As used in this subpart?

L0:Authorized supplier, means a supplier, distributor, or an aftermarket

L0:manufacturer with a contractual arrangement with, or the express written

L0:authority of, the original manufacturer or current design activity to buy, stock,

L0:repackage, sell, or distribute the part.

246.870-2 Policy

Status: active

L0:246.870-2 Policy.

L1:(a) Sources of electronic parts.

L1:(1) Except as provided in paragraph (a)(2) of this section, the Government

L0:requires contractors and subcontractors at all tiers, to?

L1:(i) Obtain electronic parts that are in production by the original

L0:manufacturer or an authorized aftermarket manufacturer or currently available in

L0:stock from?

L1:(A) The original manufacturers of the parts;

L1:(B) Their authorized suppliers; or

L0:manufacturers of the parts or their authorized suppliers; and

L1:(C) Suppliers that obtain such parts exclusively from the original

L1:(ii) Obtain electronic parts that are not in production by the original

L0:manufacturer or an authorized aftermarket manufacturer, and that are not
L0:currently available in stock from a source listed in paragraph (a)(1)(i) of this section,
L0:from suppliers identified by the Contractor as contractor-approved suppliers,
L0:provided that?

L1:(A) For identifying and approving such contractor-approved
L0:suppliers, the contractor uses established counterfeit prevention industry standards
L0:and processes (including inspection, testing, and authentication), such as the DoD-
L0:adopted standards at <https://assist.dla.mil>;

L0:parts provided by such contractor-approved suppliers (see 231.205-71); and

L1:(B) The contractor assumes responsibility for the authenticity of

L1:(C) The selection of such contractor-approved suppliers is subject to
L0:review, audit, and approval by the Government, generally in conjunction with a
L0:contractor purchasing system review or other surveillance of purchasing practices
L0:by the contract administration office, or if the Government obtains credible evidence
L0:that a contractor-approved supplier has provided counterfeit parts. The contractor
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L0:may proceed with the acquisition of electronic parts from a contractor-approved
L0:supplier unless otherwise notified by DoD.

L1:(2) The Government requires contractors and subcontractors to comply with
L0:the notification, inspection, testing, and authentication requirements of paragraph
L3:(b)(3)(ii) of the clause at 252.246-7008, Sources of Electronic Parts, if the
L0:contractor?

L1:(i) Obtains an electronic part from?

L2:(a)(1) of this section, due to nonavailability from such sources; or

L1:(A) A source other than any of the sources identified in paragraph

L0:refuses to accept flowdown of this clause; or

L1:(B) A subcontractor (other than the original manufacturer) that

L1:(ii) Cannot confirm that an electronic part is new or not previously used
L0:and that it has not been comingled in supplier new production or stock with used,
L0:refurbished, reclaimed, or returned parts.

L1:(3) Contractors and subcontractors are still required to comply with the
L0:requirements of paragraphs (a)(1) or (2) of this section, as applicable, if?

L1:(i) Authorized to purchase electronic parts from the Federal Supply
L0:Schedule;

L1:(ii) Purchasing electronic parts from suppliers accredited by the Defense
L0:Microelectronics Activity; or

L1:(iii) Requisitioning electronic parts from Government inventory/stock
L0:under the authority of the clause at 252.251-7000 , Ordering from Government
L0:Supply Sources.

L0:of such parts may be charged as a direct cost.

L1:(A) The cost of any required inspection, testing, and authentication

L1:(B) The Government is responsible for the authenticity of the
L0:requisitioned electronic parts. If any such part is subsequently found to be
L0:counterfeit or suspect counterfeit, the Government will?

L1:(1) Promptly replace such part at no charge; and
L1:(2) Consider an adjustment in the contract schedule to the
L0:extent that replacement of the counterfeit or suspect counterfeit electronic parts
L0:caused a delay in performance.
L1:(b) Contractor counterfeit electronic part detection and avoidance system.
L1:(1) Contractors that are subject to the cost accounting standards and that
L0:supply electronic parts or products that include electronic parts, and their
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46
L0:Defense FAR Supplement (DFARS) Part 246
L0:subcontractors that supply electronic parts or products that include electronic parts,
L0:are required to establish and maintain an acceptable counterfeit electronic part
L0:detection and avoidance system. Failure to do so may result in disapproval of the
L0:purchasing system by the contracting officer and/or withholding of payments
L0:(see 252.244-7001 , Contractor Purchasing System Administration).
L1:(2) System criteria. A counterfeit electronic part detection and avoidance
L0:system must include risk-based policies and procedures that address, at a
L0:minimum, the following areas (see the clause at 252.246-7007 , Contractor
L0:Counterfeit Electronic Part Detection and Avoidance System):
L1:(i) The training of personnel.
L1:(ii) The inspection and testing of electronic parts, including criteria for
L0:acceptance and rejection.
L1:(iii) Processes to abolish counterfeit parts proliferation.
L1:(iv) Processes for maintaining electronic part traceability.
L1:(v) Use of suppliers in accordance with paragraph (a) of this section.
L1:(vi) The reporting and quarantining of counterfeit electronic parts and
L0:suspect counterfeit electronic parts.
L1:(vii) Methodologies to identify suspect counterfeit electronic parts and to
L0:rapidly determine if a suspect counterfeit electronic part is, in fact, counterfeit.
L1:(viii) Design, operation, and maintenance of systems to detect and avoid
L0:counterfeit electronic parts and suspect counterfeit electronic parts.
L1:(ix) Flow down of counterfeit detection and avoidance requirements.
L1:(x) Process for keeping continually informed of current counterfeiting
L0:information and trends.
L1:(xi) Process for screening the Government-Industry Data Exchange
L0:Program (GIDEP) reports and other credible sources of counterfeiting information.
L1:(xii) Control of obsolete electronic parts.

246.870-3 Contract clauses

Status: active

L0:246.870-3 Contract clauses.
L2:(a)(1) Except as provided in paragraph (a)(2) of this section, insert the clause
L0:at 252.246-7007, Contractor Counterfeit Electronic Part Detection and Avoidance
L0:System, in solicitations and contracts when procuring?

L1:(i) Electronic parts;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46
L0:Defense FAR Supplement (DFARS) Part 246
L1:(ii) End items, components, parts, or assemblies containing electronic
L0:parts; or
L1:(iii) Services, if the contractor will supply electronic parts or
L0:components, parts, or assemblies containing electronic parts as part of the service.
L1:(2) Do not use the clause in solicitations and contracts that are set aside for
L0:small business.
L1:(b) Insert the clause at 252.246-7008 , Sources of Electronic Parts, in
L0:solicitations and contracts, including solicitations and contracts using FAR part 12
L0:procedures for the acquisition of commercial products and commercial services,
L0:when procuring?
L1:(1) Electronic parts;
L1:(2) End items, components, parts, or assemblies containing electronic parts;
L0:or
L1:(3) Services, if the contractor will supply electronic parts or components,
L0:parts, or assemblies containing electronic parts as part of the service.
L0:*****

252.246-7000 [Reserved]

Status: active

L0:252.246-7000 [Reserved]

252.246-7998 Warranty of data. (DEVIATION 2026-O0035)

Status: active

L0:252.246-7998 Warranty of data. (DEVIATION 2026-O0035)
L0:Basic. As prescribed in 246.710(1) and (1)(i), use the following clause:
L0:WARRANTY OF DATA?BASIC (DEVIATION 2026-O0035) (FEB 2026)
L1:(a) Definition?Technical data has the same meaning as given in the clause at

252.227-7989 Rights in Technical Data, Computer Software, and Computer

Status: active

L0:252.227-7989 Rights in Technical Data, Computer Software, and Computer
L0:Software Documentation?Other Than Commercial Products or Commercial
L0:Services.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46
L0:Defense FAR Supplement (DFARS) Part 246
L1:(b) Warranty. Notwithstanding inspection and acceptance by the Government of
L0:technical data furnished under this contract, and notwithstanding any provision of

L0:this contract concerning the conclusiveness of acceptance, the Contractor warrants
L0:that all technical data delivered under this contract will at the time of delivery
L0:conform with the specifications and all other requirements of this contract. The
L0:warranty period shall extend for three years after completion of the delivery of the
L0:line item of data (as identified in DD Form 1423, Contract Data Requirements List)
L0:of which the data forms a part; or any longer period specified in the contract.

L1:(c) Contractor Notification. The Contractor agrees to notify the Contracting
L0:Officer in writing immediately of any breach of the above warranty which the
L0:Contractor discovers within the warranty period.

L1:(d) Remedies. The following remedies shall apply to all breaches of the
L0:warranty, whether the Contractor notifies the Contracting Officer in accordance
L0:with paragraph (c) of this clause or if the Government notifies the Contractor of the
L0:breach in writing within the warranty period:

L1:(1) Within a reasonable time after such notification, the Contracting Officer
L0:may?

L1:(i) By written notice, direct the Contractor to correct or replace at the
L0:Contractor's expense the nonconforming technical data promptly; or

L1:(ii) If the Contracting Officer determines that the Government no longer
L0:has a requirement for correction or replacement of the data, or that the data can be
L0:more reasonably corrected by the Government, inform the Contractor by written
L0:notice that the Government elects a price or fee adjustment instead of correction or
L0:replacement.

L1:(2) If the Contractor refuses or fails to comply with a direction under
L0:paragraph (d)(1)(i) of this clause, the Contracting Officer may, within a reasonable
L0:time of the refusal or failure?

L1:(i) By contract or otherwise, correct or replace the nonconforming
L0:technical data and charge the cost to the Contractor; or

L1:(ii) Elect a price or fee adjustment instead of correction or replacement.

L1:(3) In addition to the remedies under paragraphs (d)(1) and (2) of this
L0:clause, the Contractor shall be liable to the Government for all damages to the
L0:Government as a result of the breach of the warranty.

L1:(i) The additional liability under paragraph (d)(3) of this clause shall not
L0:exceed ten percent of the total contract price.

L1:(ii) If the breach of the warranty is with respect to the data supplied by
L0:an equipment subcontractor, the limit of the Contractor's liability shall be?
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46
L0:Defense FAR Supplement (DFARS) Part 246
L0:subcontract;

L1:(A) Ten percent of the total subcontract price in a firm[-]fixed[-]price
L0:fixed-fee or cost-plus-award-fee subcontract; or

L1:(B) Seventy-five percent of the total subcontract fee in a cost-plus-
L0:in a fixed-price-incentive or cost-plus-incentive subcontract.

L1:(C) Seventy-five percent of the total subcontract target profit or fee

L1:(iii) The additional liability specified in paragraph (d)(3) of this clause
L0:shall not apply?

L1:(A) With respect to the requirements for product drawings and
L0:associated lists, special inspection equipment (SIE) drawings and associated lists,
L0:special tooling drawings and associated lists, SIE operating instructions, SIE
L0:descriptive documentation, and SIE calibration procedures under MIL-T-31000,
L0:General Specification for Technical Data Packages, Amendment 1, or MIL-T-47500,
L0:General Specification for Technical Data Packages, Supp 1, or drawings and
L0:associated lists under level 2 or level 3 of MIL-D-1000A, Engineering and
L0:Associated Data Drawings, or DoD-D-1000B, Engineering and Associated Lists
L0:Drawings (Inactive for New Design) Amendment 4, Notice 1; or drawings and
L0:associated lists under category E or I of MIL-D-1000, Engineering and Associated
L0:Lists Drawings, provided that the data furnished by the Contractor was current,
L0:accurate at time of submission, and did not involve a significant omission of data
L0:necessary to comply with the requirements; or
L0:the Government before the Government discovers the error.
L1:(B) To defects the Contractor discovers and gives written notice to
L1:(e) The provisions of this clause apply anew to that portion of any corrected or
L0:replaced technical data furnished to the Government under paragraph (d)(1)(i) of
L0:this clause.
L0:(End of clause)

252.246-7002 Warranty of construction (Germany)

Status: active

L0:252.246-7002 Warranty of construction (Germany).

L0:As prescribed in 246.710(2), use the following clause:

L0:WARRANTY OF CONSTRUCTION (GERMANY) (JUN 1997)

L1:(a) In addition to any other representations in this contract, the Contractor
L0:warrants, except as provided in paragraph (j) of this clause, that the work
L0:performed under this contract conforms to the contract requirements and is free of
L0:any defect of equipment, material, or design furnished or workmanship performed
L0:by the Contractor or any subcontractor or supplier at any tier.
L1:(b) This warranty shall continue for the period(s) specified in Section 13, VOB,
L0:Part B, commencing from the date of final acceptance of the work under this
L0:contract. If the Government takes possession of any part of the work before final
L0:acceptance, this warranty shall continue for the period(s) specified in Section 13,
L0:VOB, Part B, from the date the Government takes possession.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46
L0:Defense FAR Supplement (DFARS) Part 246
L1:(c) The Contractor shall remedy, at the Contractor's expense, any failure to
L0:conform or any defect. In addition, the Contractor shall remedy, at the Contractor's
L0:expense, any damage to Government-owned or -controlled real or personal property
L0:when that damage is the result of?
L1:(1) The Contractor's failure to conform to contract requirements; or
L1:(2) Any defect of equipment, material, or design furnished or workmanship

L0:performed.

L1:(d) The Contractor shall restore any work damaged in fulfilling the terms and
L0:conditions of this clause.

L1:(e) The Contracting Officer shall notify the Contractor, in writing, within a
L0:reasonable period of time after the discovery of any failure, defect, or damage.

L1:(f) If the Contractor fails to remedy any failure, defect, or damage within a
L0:reasonable period of time after receipt of notice, the Government shall have the
L0:right to replace, repair, or otherwise remedy the failure, defect, or damage at the
L0:Contractor's expense.

L1:(g) With respect to all warranties, express or implied, from subcontractors,
L0:manufacturers, or suppliers for work performed and materials furnished under this
L0:contract, the Contractor shall?

L1:(1) Obtain all warranties that would be given in normal commercial
L0:practice;

L1:(2) Require all warranties to be executed in writing, for the benefit of the
L0:Government, if directed by the Contracting Officer; and

L1:(3) Enforce all warranties for the benefit of the Government as directed by
L0:the Contracting Officer.

L1:(h) In the event the Contractor's warranty under paragraph (b) of this clause
L0:has expired, the Government may bring suit at its expense to enforce a
L0:subcontractor's, manufacturer's, or supplier's warranty.

L1:(i) Unless a defect is caused by the Contractor's negligence, or the
L0:negligence of a subcontractor or supplier at any tier, the Contractor shall not be
L0:liable for the repair of any defects of material or design furnished by the
L0:Government or for the repair of any damage resulting from any defect in
L0:Government-furnished material or design.

L1:(j) This warranty shall not limit the Government's right under the Inspection
L0:clause of this contract, with respect to latent defects, gross mistakes, or fraud.
L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

252.246-7003 Notification of Potential Safety Issues

Status: active

L0:252.246-7003 Notification of Potential Safety Issues.

L0:As prescribed in 246.370(a), use the following clause:

L0:NOTIFICATION OF POTENTIAL SAFETY ISSUES (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Credible information means information that, considering its source and the
L0:surrounding circumstances, supports a reasonable belief that an event has occurred
L0:or will occur.

L0:Critical safety item means a part, subassembly, assembly, subsystem,
L0:installation equipment, or support equipment for a system that contains a

L0:characteristic, any failure, malfunction, or absence of which could have a safety
L0:impact.

L0:Safety impact means the occurrence of death, permanent total disability,
L0:permanent partial disability, or injury or occupational illness requiring
L0:hospitalization; loss of a weapon system; or property damage exceeding \$1,000,000.

L0:Subcontractor means any supplier, distributor, vendor, or firm that furnishes
L0:supplies or services to or for the Contractor or another subcontractor under this
L0:contract.

L1:(b) The Contractor shall provide notification, in accordance with paragraph (c) of
L0:this clause, of?

L1:(1) All nonconformances for parts identified as critical safety items acquired
L0:by the Government under this contract; and

L1:(2) All nonconformances or deficiencies that may result in a safety impact
L0:for systems, or subsystems, assemblies, subassemblies, or parts integral to a
L0:system, acquired by or serviced for the Government under this contract.

L1:(c) The Contractor?

L1:(1) Shall notify the Administrative Contracting Officer (ACO) and the
L0:Procuring Contracting Officer (PCO) as soon as practicable, but not later than 72
L0:hours, after discovering or acquiring credible information concerning
L0:nonconformances and deficiencies described in paragraph (b) of this clause; and

L1:(2) Shall provide a written notification to the ACO and the PCO within 5
L0:working days that includes?

L1:(i) A summary of the defect or nonconformance;

L1:(ii) A chronology of pertinent events;

L1:(iii) The identification of potentially affected items to the extent known
L0:at the time of notification;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L1:(iv) A point of contact to coordinate problem analysis and resolution; and

L1:(v) Any other relevant information.

L1:(d) The Contractor?

L1:(1) Is responsible for the notification of potential safety issues occurring
L0:with regard to an item furnished by any subcontractor; and

L1:(2) Shall facilitate direct communication between the Government and the
L0:subcontractor as necessary.

L1:(e) Notification of safety issues under this clause shall be considered neither an
L0:admission of responsibility nor a release of liability for the defect or its
L0:consequences. This clause does not affect any right of the Government or the
L0:Contractor established elsewhere in this contract.

L2:(f)(1) Subcontracts. The Contractor shall include the substance of this clause,
L0:including this paragraph (f), in subcontracts for?

L1:(i) Parts identified as critical safety items;

L1:(ii) Systems and subsystems, assemblies, and subassemblies integral to
L0:a system; or

L1:(iii) Repair, maintenance, logistics support, or overhaul services for

L0:systems and subsystems, assemblies, subassemblies, and parts integral to a system.
L1:(2) For those subcontracts, including subcontracts for commercial products
L0:or commercial services, described in paragraph (f)(1) of this clause, the Contractor
L0:shall require the subcontractor to provide the notification required by paragraph (c)
L0:of this clause to?
L1:(i) The Contractor or higher-tier subcontractor; and
L1:(ii) The ACO and the PCO, if the subcontractor is aware of the ACO and
L0:the PCO for the contract.
L0:(End of clause)

252.246-7004 Safety of Facilities, Infrastructure, and Equipment for

Status: active

L0:252.246-7004 Safety of Facilities, Infrastructure, and Equipment for
L0:Military Operations.
L0:As prescribed in 246.270-4, use the following clause:
**L0:SAFETY OF FACILITIES, INFRASTRUCTURE, AND EQUIPMENT FOR
L0:MILITARY OPERATIONS (OCT 2010)**
L1:(a) Definition. Discipline Working Group, as used in this clause, means
L0:representatives from the DoD Components, as defined in MIL-STD-3007F, who are
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46
L0:Defense FAR Supplement (DFARS) Part 246
L0:responsible for the unification and maintenance of the Unified Facilities Criteria
L1:(UFC) documents for a particular discipline area.
L1:(b) The Contractor shall ensure, consistent with the requirements of the
L0:applicable inspection clause in this contract, that the facilities, infrastructure, and
L0:equipment acquired, constructed, installed, repaired, maintained, or operated under
L0:this contract comply with Unified Facilities Criteria (UFC) 1-200-01 for?
L1:(1) Fire protection;
L1:(2) Structural integrity;
L1:(3) Electrical systems;
L1:(4) Plumbing;
L1:(5) Water treatment;
L1:(6) Waste disposal; and
L1:(7) Telecommunications networks.
L1:(c) The Contractor may apply a standard equivalent to or more stringent than
L0:UFC 1-200-01 upon a written determination of the acceptability of the standard by
L0:the Contracting Officer with the concurrence of the relevant Discipline Working
L0:Group.
L0:(End of clause)

252.246-7005 Notice of Warranty Tracking of Serialized Items

Status: active

L0:252.246-7005 Notice of Warranty Tracking of Serialized Items.

L0:As prescribed in 246.710(3)(i), use the following provision:

L0:NOTICE OF WARRANTY TRACKING OF SERIALIZED ITEMS (MAR 2016)

L1:(a) Definitions. Duration, enterprise, enterprise identifier, fixed expiration, item

L0:type, serialized item, starting event, unique item identifier, usage, warranty

L0:administrator, warranty guarantor, and warranty tracking are defined in the clause

L0:at 252.246-7006, Warranty Tracking of Serialized Items.

L1:(b) Reporting of data for warranty tracking and administration. (1) The Offeror

L0:shall provide the information required by the attachment entitled ?Warranty

L0:Tracking Information? on each contract line item number, subline item number, or

L0:exhibit line item number for warranted items with its offer. Information required in

L0:the warranty attachment for each warranted item shall include such information as

L0:duration, fixed expiration, item type, starting event, usage, warranty administrator

L0:enterprise identifier, and warranty guarantor enterprise identifier.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L1:(2) The successful offeror will be required to provide the following

L0:information no later than when the warranted items are presented for receipt

L0:and/or acceptance, in accordance with the clause at 252.246-7006?

L1:(i) The unique item identifier for each warranted item required by the

L0:attachment entitled ?Warranty Tracking Information;? and

L1:(ii) All information required by the attachment entitled ?Source of

L0:Repair Instructions? for each warranted item.

L1:(3) For additional information on warranty attachments, see the ?Warranty

L0:and Source of Repair? training and ?Warranty and Source of Repair Tracking User

L0:Guide? accessible on the Product Data Reporting and Evaluation Program (PDREP)

L0:Web site at https://www.pdrep.csd.disa.mil/pdrep_files/other/wsr.htm.

252.246-7006 Warranty Tracking of Serialized Items

Status: active

L0:252.246-7006 Warranty Tracking of Serialized Items.

L0:As prescribed in 246.710(3)(ii), use the following clause:

L0:(End of provision)

L0:WARRANTY TRACKING OF SERIALIZED ITEMS (MAR 2016)

L1:(a) Definitions. As used in this clause?

L0:Duration means the warranty period. This period may be a stated period of

L0:time, amount of usage, or the occurrence of a specified event, after formal

L0:acceptance of delivery, for the Government to assert a contractual right for the

L0:correction of defects.

L0:Enterprise means the entity (e.g., a manufacturer or vendor) responsible for

L0:granting the warranty and/or assigning unique item identifiers to serialized

L0:warranty items.

L0:Enterprise identifier means a code that is uniquely assigned to an enterprise by

L0:an issuing agency.

L0:First use means the initial or first-time use of a product by the Government.

L0:Fixed expiration means the date the warranty expires and the Contractor's

L0:obligation to provide for a remedy or corrective action ends.

L0:Installation means the date a unit is inserted into a higher level assembly in

L0:order to make that assembly operational.

L0:Issuing agency means an organization responsible for assigning a globally

L0:unique identifier to an enterprise, as indicated in the Register of Issuing Agency

L0:Codes for International Standards Organization/International Electrotechnical

L0:Commission 15459, located at http://www.aimglobal.org/?Reg_Authority15459.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L0:Item type means a coded representation of the description of the item being

L0:warranted, consisting of the codes C?component procured separate from end item,

L0:S?subassembly procured separate from end item or subassembly, E?embedded in

L0:component, subassembly or end item parent, and P?parent end item.

L0:Starting event means the event or action that initiates the warranty, such as

L0:first use or upon installation.

L0:Serialized item means each item produced is assigned a serial number that is

L0:unique among all the collective tangible items produced by the enterprise, or each

L0:item of a particular part, lot, or batch number is assigned a unique serial number

L0:within that part, lot, or batch number assignment within the enterprise identifier.

L0:The enterprise is responsible for ensuring unique serialization within the enterprise

L0:identifier or within the part, lot, or batch numbers, and that serial numbers, once

L0:assigned, are never used again.

L0:Unique item identifier means a set of data elements marked on an item that is

L0:globally unique and unambiguous.

L0:Usage means the quantity and an associated unit of measure that specifies the

L0:amount of a characteristic subject to the contractor's obligation to provide for

L0:remedy or corrective action, such as a number of miles, hours, or cycles.

L0:Warranty administrator means the organization specified by the guarantor for

L0:managing the warranty.

L0:Warranty guarantor means the enterprise that provides the warranty under the

L0:terms and conditions of a contract.

L0:Warranty repair source means the organization specified by a warranty

L0:guarantor for receiving and managing warranty items that are returned by a

L0:customer.

L0:Warranty tracking means the ability to trace a warranted item from delivery

L0:through completion of the effectivity of the warranty.

L1:(b) Reporting of data for warranty tracking and administration. (1) The

L0:Contractor shall provide the information required by the attachment entitled

L0:Warranty Tracking Information? on each contract line item number, subline item

L0:number, or exhibit line item number for warranted items no later than the time of

L0:award. Information required in the warranty attachment shall include such

L0:information as duration, fixed expiration, item type, starting event, usage, warranty

L0:administrator enterprise identifier, and warranty guarantor enterprise identifier.

L1:(2) The Contractor shall provide the following information no later than

L0:when the warranted items are presented for receipt and/or acceptance?

L1:(i) The unique item identifier for each warranted item required by the

L0:attachment entitled "Warranty Tracking Information;" and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L1:(ii) The warranty repair source information and instructions for each

L0:warranted item required by the attachment entitled "Source of Repair Instructions."

L1:(3) The Contractor shall submit the data for warranty tracking to the

L0:Contracting Officer with a copy to the requiring activity and the Contracting Officer

L0:Representative.

L1:(4) For additional information on warranty attachments, see the "Warranty

L0:and Source of Repair" training and "Warranty and Source of Repair Tracking User

L0:Guide" accessible on the Product Data Reporting and Evaluation Program (PDREP)

L0:Web site at https://www.pdrep.csd.disa.mil/pdrep_files/other/wsr.htm.

L1:(c) Reservation of rights. The terms of this clause shall not be construed to limit

L0:the Government's rights or remedies under any other contract clause.

L0:(End of clause)

252.246-7007 Contractor Counterfeit Electronic Part Detection and

Status: active

L0:252.246-7007 Contractor Counterfeit Electronic Part Detection and

L0:Avoidance System.

L0:As prescribed in 246.870-3(a), use the following clause:

L0:CONTRACTOR COUNTERFEIT ELECTRONIC PART DETECTION AND

L0:AVOIDANCE SYSTEM (JAN 2023)

L0:The following paragraphs (a) through (e) of this clause do not apply unless the

L0:Contractor is subject to the Cost Accounting Standards under 41 U.S.C. chapter 15,

L0:as implemented in regulations found at 48 CFR 9903.201-1.

L1:(a) Definitions. As used in this clause?

L0:Authorized aftermarket manufacturer means an organization that fabricates a

L0:part under a contract with, or with the express written authority of, the original

L0:component manufacturer based on the original component manufacturer's designs,

L0:formulas, and/or specifications.

L0:Authorized supplier means a supplier, distributor, or an aftermarket

L0:manufacturer with a contractual arrangement with, or the express written

L0:authority of, the original manufacturer or current design activity to buy, stock,

L0:repackage, sell, or distribute the part.

L0:Contract manufacturer means a company that produces goods under contract for

L0:another company under the label or brand name of that company.

L0:Contractor-approved supplier means a supplier that does not have a contractual

L0:agreement with the original component manufacturer for a transaction, but has

L0:been identified as trustworthy by a contractor or subcontractor.

L0:Counterfeit electronic part means an unlawful or unauthorized reproduction,

L0:substitution, or alteration that has been knowingly mismarked, misidentified, or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L0:otherwise misrepresented to be an authentic, unmodified electronic part from the

L0:original manufacturer, or a source with the express written authority of the original

L0:manufacturer or current design activity, including an authorized aftermarket

L0:manufacturer. Unlawful or unauthorized substitution includes used electronic

L0:parts represented as new, or the false identification of grade, serial number, lot

L0:number, date code, or performance characteristics.

L0:Electronic part means an integrated circuit, a discrete electronic component

L0:(including, but not limited to, a transistor, capacitor, resistor, or diode), or a circuit

L0:assembly (section 818(f)(2) of Pub. L. 112-81).

L0:Obsolete electronic part means an electronic part that is no longer available from

L0:the original manufacturer or an authorized aftermarket manufacturer.

L0:Original component manufacturer means an organization that designs and/or

L0:engineers a part and is entitled to any intellectual property rights to that part.

L0:Original equipment manufacturer means a company that manufactures products

L0:that it has designed from purchased components and sells those products under the

L0:company's brand name.

L0:Original manufacturer means the original component manufacturer, the original

L0:equipment manufacturer, or the contract manufacturer.

L0:Suspect counterfeit electronic part means an electronic part for which credible

L0:evidence (including, but not limited to, visual inspection or testing) provides

L0:reasonable doubt that the electronic part is authentic.

L1:(b) Acceptable counterfeit electronic part detection and avoidance system. The

L0:Contractor shall establish and maintain an acceptable counterfeit electronic part

L0:detection and avoidance system. Failure to maintain an acceptable counterfeit

L0:electronic part detection and avoidance system, as defined in this clause, may result

L0:in disapproval of the purchasing system by the Contracting Officer and/or

L0:withholding of payments and affect the allowability of costs of counterfeit electronic

L0:parts or suspect counterfeit electronic parts and the cost of rework or corrective

L0:action that may be required to remedy the use or inclusion of such parts (see

L0:DFARS 231.205-71).

L1:(c) System criteria. A counterfeit electronic part detection and avoidance system

L0:shall include risk-based policies and procedures that address, at a minimum, the

L0:following areas:

L1:(1) The training of personnel.

L1:(2) The inspection and testing of electronic parts, including criteria for

L0:acceptance and rejection. Tests and inspections shall be performed in accordance

L0:with accepted Government- and industry-recognized techniques. Selection of tests

L0:and inspections shall be based on minimizing risk to the Government.

L0:Determination of risk shall be based on the assessed probability of receiving a

L0:counterfeit electronic part; the probability that the inspection or test selected will

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L0:detect a counterfeit electronic part; and the potential negative consequences of a

L0:counterfeit electronic part being installed (e.g., human safety, mission success)

L0:where such consequences are made known to the Contractor.

L1:(3) Processes to abolish counterfeit parts proliferation.

L1:(4) Risk-based processes that enable tracking of electronic parts from the

L0:original manufacturer to product acceptance by the Government, whether the

L0:electronic parts are supplied as discrete electronic parts or are contained in

L0:assemblies, in accordance with paragraph (c) of the clause at 252.246-7008, Sources

L0:of Electronic Parts (also see paragraph (c)(2) of this clause).

L1:(5) Use of suppliers in accordance with the clause at 252.246-7008.

L1:(6) Reporting and quarantining of counterfeit electronic parts and suspect

L0:counterfeit electronic parts. Reporting is required to the Contracting Officer and to

L0:the Government-Industry Data Exchange Program (GIDEP) when the Contractor

L0:becomes aware of, or has reason to suspect that, any electronic part or end item,

L0:component, part, or assembly containing electronic parts purchased by the DoD, or

L0:purchased by a Contractor for delivery to, or on behalf of, the DoD, contains

L0:counterfeit electronic parts or suspect counterfeit electronic parts. Counterfeit

L0:electronic parts and suspect counterfeit electronic parts shall not be returned to the

L0:seller or otherwise returned to the supply chain until such time that the parts are

L0:determined to be authentic.

L1:(7) Methodologies to identify suspect counterfeit parts and to rapidly

L0:determine if a suspect counterfeit part is, in fact, counterfeit.

L1:(8) Design, operation, and maintenance of systems to detect and avoid

L0:counterfeit electronic parts and suspect counterfeit electronic parts. The Contractor

L0:may elect to use current Government- or industry-recognized standards to meet this

L0:requirement.

L1:(9) Flowdown of counterfeit detection and avoidance requirements,

L0:including applicable system criteria provided herein, to subcontractors at all levels

L0:in the supply chain that are responsible for buying or selling electronic parts or

L0:assemblies containing electronic parts, or for performing authentication testing.

L1:(10) Process for keeping continually informed of current counterfeiting

L0:information and trends, including detection and avoidance techniques contained in

L0:appropriate industry standards, and using such information and techniques for

L0:continuously upgrading internal processes.

L1:(11) Process for screening GIDEP reports and other credible sources of

L0:counterfeiting information to avoid the purchase or use of counterfeit electronic

L0:parts.

L1:(12) Control of obsolete electronic parts in order to maximize the availability

L0:and use of authentic, originally designed, and qualified electronic parts throughout

L0:the product's life cycle.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L1:(d) Government review and evaluation of the Contractor's policies and

L0:procedures will be accomplished as part of the evaluation of the Contractor's
L0:purchasing system in accordance with 252.244-7001, Contractor Purchasing System
L0:Administration?Basic, or Contractor Purchasing System Administration?
L0:Alternate I.
L1:(e) Subcontracts. The Contractor shall include the substance of this clause,
L0:excluding the introductory text and including only paragraphs (a) through (e), in
L0:subcontracts, including subcontracts for commercial products, for electronic parts or
L0:assemblies containing electronic parts.
L0:(End of clause)

252.246-7008 Sources of Electronic Parts

Status: active

L0:252.246-7008 Sources of Electronic Parts.
L0:As prescribed in 246.870-3(b), use the following clause:
L0:SOURCES OF ELECTRONIC PARTS (JAN 2023)
L1:(a) Definitions. As used in this clause?
L0:Authorized aftermarket manufacturer means an organization that fabricates a
L0:part under a contract with, or with the express written authority of, the original
L0:component manufacturer based on the original component manufacturer's designs,
L0:formulas, and/or specifications.
L0:Authorized supplier means a supplier, distributor, or an aftermarket
L0:manufacturer with a contractual arrangement with, or the express written
L0:authority of, the original manufacturer or current design activity to buy, stock,
L0:repackage, sell, or distribute the part.
L0:Contract manufacturer means a company that produces goods under contract for
L0:another company under the label or brand name of that company.
L0:Contractor-approved supplier means a supplier that does not have a contractual
L0:agreement with the original component manufacturer for a transaction, but has
L0:been identified as trustworthy by a contractor or subcontractor.
L0:Electronic part means an integrated circuit, a discrete electronic component
L0:(including, but not limited to, a transistor, capacitor, resistor, or diode), or a circuit
L0:assembly (section 818(f)(2) of Pub. L. 112-81).
L0:Original component manufacturer means an organization that designs and/or
L0:engineers a part and is entitled to any intellectual property rights to that part.
L0:Original equipment manufacturer means a company that manufactures products
L0:that it has designed from purchased components and sells those products under the
L0:company's brand name.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46
L0:Defense FAR Supplement (DFARS) Part 246
L0:Original manufacturer means the original component manufacturer, the original
L0:equipment manufacturer, or the contract manufacturer.
L1:(b) Selecting suppliers. In accordance with section 818(c)(3) of the National
L0:Defense Authorization Act for Fiscal Year 2012 (Pub. L. 112-81), as amended by

L0:section 817 of the National Defense Authorization Act for Fiscal Year 2015 (Pub. L. 113-291 and section 885 of the National Defense Authorization Act for Fiscal Year 2016 (Pub. L. 114-92)), the Contractor shall?

L1:(1) First obtain electronic parts that are in production by the original

L0:manufacturer or an authorized aftermarket manufacturer or currently available in

L0:stock from?

L1:(i) The original manufacturers of the parts;

L1:(ii) Their authorized suppliers; or

L1:(iii) Suppliers that obtain such parts exclusively from the original

L0:manufacturers of the parts or their authorized suppliers;

L1:(2) If electronic parts are not available as provided in paragraph (b)(1) of

L0:this clause, obtain electronic parts that are not in production by the original

L0:manufacturer or an authorized aftermarket manufacturer, and that are not

L0:currently available in stock from a source listed in paragraph (b)(1) of this clause,

L0:from suppliers identified by the Contractor as contractor-approved suppliers,

L0:provided that?

L1:(i) For identifying and approving such contractor-approved suppliers,

L0:the Contractor uses established counterfeit prevention industry standards and

L0:processes (including inspection, testing, and authentication), such as the DoD-

L0:adopted standards at <https://assist.dla.mil>;

L1:(ii) The Contractor assumes responsibility for the authenticity of parts

L0:provided by such contractor-approved suppliers; and

L1:(iii) The Contractor's selection of such contractor-approved suppliers is

L0:subject to review, audit, and approval by the Government, generally in conjunction

L0:with a contractor purchasing system review or other surveillance of purchasing

L0:practices by the contract administration office, or if the Government obtains

L0:credible evidence that a contractor-approved supplier has provided counterfeit

L0:parts. The Contractor may proceed with the acquisition of electronic parts from a

L0:contractor-approved supplier unless otherwise notified by DoD; or

L2:(3)(i) Take the actions in paragraphs paragraph (b)(3)(ii) of this clause if the

L0:Contractor?

L1:(A) Obtains an electronic part from?

L0:paragraph (b)(1) or (b)(2) of this clause, due to nonavailability from such sources; or

L1:(1) A source other than any of the sources identified in

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L0:refuses to accept flowdown of this clause; or

L1:(2) A subcontractor (other than the original manufacturer) that

L1:(B) Cannot confirm that an electronic part is new or previously

L0:unused and that it has not been comingled in supplier new production or stock with

L0:used, refurbished, reclaimed, or returned parts.

L1:(ii) If the contractor obtains an electronic part or cannot confirm an

L0:electronic part pursuant to paragraph (b)(3)(i) of this clause?

L1:(A) Promptly notify the Contracting Officer in writing. If such

L0:notification is required for an electronic part to be used in a designated lot of

L0:assemblies to be acquired under a single contract, the Contractor may submit one
L0:notification for the lot, providing identification of the assemblies containing the
L0:parts (e.g., serial numbers);
L0:accordance with existing applicable industry standards; and
L1:(B) Be responsible for inspection, testing, and authentication, in
L0:such electronic parts available to the Government upon request.
L1:(C) Make documentation of inspection, testing, and authentication of
L1:(c) Traceability. If the Contractor is not the original manufacturer of, or
L0:authorized supplier for, an electronic part, the Contractor shall?
L1:(1) Have risk-based processes (taking into consideration the consequences of
L0:failure of an electronic part) that enable tracking of electronic parts from the
L0:original manufacturer to product acceptance by the Government, whether the
L0:electronic part is supplied as a discrete electronic part or is contained in an
L0:assembly;
L1:(2) If the Contractor cannot establish this traceability from the original
L0:manufacturer for a specific electronic part, be responsible for inspection, testing,
L0:and authentication, in accordance with existing applicable industry standards; and
L2:(3)(i) Maintain documentation of traceability (paragraph (c)(1) of this
L0:clause) or the inspection, testing, and authentication required when traceability
L0:cannot be established (paragraph (c)(2) of this clause) in accordance with FAR
L0:subpart 4.7; and
L1:(ii) Make such documentation available to the Government upon
L0:request.
L1:(d) Government sources. Contractors and subcontractors are still required to
L0:comply with the requirements of paragraphs (b) and (c) of this clause, as applicable,
L0:if?
L1:(1) Authorized to purchase electronic parts from the Federal Supply
L0:Schedule;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46
L0:Defense FAR Supplement (DFARS) Part 246
L1:(2) Purchasing electronic parts from suppliers accredited by the Defense
L0:Microelectronics Activity; or
L1:(3) Requisitioning electronic parts from Government inventory/stock under
L0:the authority of 252.251-7000, Ordering from Government Supply Sources.
L1:(i) The cost of any required inspection, testing, and authentication of
L0:such parts may be charged as a direct cost.
L1:(ii) The Government is responsible for the authenticity of the
L0:requisitioned parts. If any such part is subsequently found to be counterfeit or
L0:suspect counterfeit, the Government will?
L1:(A) Promptly replace such part at no charge; and
L1:(B) Consider an adjustment in the contract schedule to the extent
L0:that replacement of the counterfeit or suspect counterfeit electronic parts caused a
L0:delay in performance.
L1:(e) Subcontracts. The Contractor shall include the substance of this clause,
L0:including this paragraph (e), in subcontracts, including subcontracts for commercial

L0:products, that are for electronic parts or assemblies containing electronic parts,
L0:unless the subcontractor is the original manufacturer.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L0:PGI Part 246?QUALITY ASSURANCE

L0:PGI 246.1?GENERAL

L0:PGI 246.103 Contracting office responsibilities.

L2:(2)(i) In preparing instructions for Government inspections, the technical activity
L0:must consider, as applicable?

L1:(A) The past quality history of the contractor;

L1:(B) The criticality of the material procured in relation to its intended use,

L0:considering factors such as?

L1:(1) Reliability;

L1:(2) Safety;

L1:(3) Interchangeability; and

L1:(4) Maintainability;

L1:(C) Problems encountered in the development of the material;

L1:(D) Problems encountered in other procurements of the same or similar

L0:material;

L1:(E) Available feedback data from contract administration, receiving,

L0:testing, or using activities; and

L1:(F) The experience of other contractors in overcoming manufacturing

L0:problems.

L1:(ii) The instructions must?

L1:(A) Be kept to a minimum;

L1:(B) Ensure that the activities requested are in direct relation to contract

L0:quality requirements to serve as objective evidence of quality conformance; and

L1:(C) Be prepared on a contract-by-contract basis.

L1:(iii) The instructions must not?

L1:(A) Serve as a substitute for incomplete contract quality requirements;

L1:(B) Impose greater inspection requirements than are in the contract;

L1:(C) Use broad or general designations such as?

L1:(1) All requirements;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L1:(2) All characteristics; or

L1:(3) All characteristics in the classification of defects;

L1:(D) Be used for routine administrative procedures; or

L1:(E) Specify continued inspection requirements when statistically sound

L0:sampling will provide an adequate degree of protection.

L1:(iv) After issuing the instructions, the technical activity must?

L1:(A) Provide the contract administration office with available information

L0:regarding those factors that resulted in the requirement for Government inspection;

L1:(B) Periodically analyze the need to continue, change, or discontinue the

L0:instructions; and

L1:(C) Advise the contract administration office of the results of the periodic

L0:analyses.

L0:PGI 246.2?CONTRACT QUALITY REQUIREMENTS

L0:PGI 246.201 General

L0:PGI 246.201-70 Subsistence.

L1:(a) The Surgeons General of the military departments are responsible for?

L1:(1) Acceptance criteria;

L1:(2) Technical requirements; and

L1:(3) Inspection procedures needed to assure wholesomeness of foods.

L1:(b) The contracting office may designate any Federal activity, capable of assuring

L0:wholesomeness and quality in food, to perform quality assurance for subsistence

L0:contract items. The designation may?

L1:(1) Include medical service personnel of the military departments; and

L1:(2) Be on a reimbursable basis.

L0:PGI 246.201-71 Aircraft.

L1:(a) The Federal Aviation Administration (FAA) has certain responsibilities and

L0:prerogatives in connection with some commercial aircraft and of aircraft equipment and

L0:accessories (Pub. L. 85-726 (72 Stat 776, 49 U.S.C. 1423)). This includes the issuance

L0:of various certificates applicable to design, manufacture, and airworthiness.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L1:(b) FAA evaluations are not a substitute for normal DoD evaluations of the

L0:contractor's quality assurance measures. Actual records of FAA evaluations may be of

L0:use to the contract administration office (CAO) and should be used to their maximum

L0:advantage.

L1:(c) The CAO must ensure that the contractor possesses any required FAA

L0:certificates prior to acceptance. In addition, ensure that?

L1:(i) A detailed consultation with the FAA Military Certification Office (MCO)

L0:(contact the MCO here:

L0:https://www.faa.gov/about/office_org/headquarters_offices/avs/offices/air/hq/compliance

L0:_airworthiness_air700/mco is documented regarding the scope of the acquisition or

L0:modification project;

L1:(ii) Supporting contractual documents (meeting minutes, an email record of

L0:consultations, memoranda, etc.) demonstrate that the scope of work is feasible and

L0:compatible with FAA regulations and policy;

L1:(iii) The period of performance and contract deliverable dates are consistent

L0:with FAA capabilities; and

L1:(iv) Contract provisions requiring FAA approval or processes are coordinated

L0:with the MCO prior to a solicitation.

L0:PGI 246.3?CONTRACT CLAUSES

L0:PGI 246.370 Notification of potential safety issues.

L1:(1) The objective of this requirement is to ensure that the Government receives

L0:timely notification of potential safety defects so that?

L1:(i) Systems and equipment likely affected by the situation can be identified; and

L1:(ii) An appropriate engineering investigation and follow-on actions can be taken

L0:to establish and mitigate risk.

L1:(2) The notification is intended to be neither an admission of nor a release from

L0:liability.

L1:(3) Upon notification of a potential safety nonconformance or deficiency?

L1:(i) The procuring contracting officer must?

L1:(A) Advise the affected program office(s) or integrated materiel manager(s);

L0:and

L1:(B) Request a point of contact from the affected program office(s) or

L0:materiel management organization to assess the impact of the situation, address

L0:technical concerns, and provide recommendations;

L1:(ii) The administrative contracting officer must?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L1:(A) Confirm that potentially affected program offices, integrated materiel

L0:managers, and other contract management offices that may be recipients of the suspect

L0:items are aware of the situation; and

L1:(B) Identify a point of contact to provide support and technical assistance to

L0:the investigative team; and

L1:(iii) For replenishment parts, the integrated materiel manager must?

L1:(A) Identify any potentially affected programs or equipment; and

L1:(B) Request engineering assistance from affected engineering support

L0:activities, as prescribed by?

L1:(1) DLAI 3200.1/PAM 715.13/NAVSUPINST 4120.30A/AFI 21-

L0:408/MCO 4000.18, Engineering Support Instruction for Items Supplied by Defense

L0:Logistics Agency;

L0:3200.4/DCMA INST CSI (AV), Management of Aviation Critical Safety Items;

L1:(2) SECNAVINST 4140.2/AFI 20-106/DA PAM 95-9/DLAI

L0:Maintenance Management System?Aviation (TAMMS-A);

L1:(3) DA PAM 738-751, Functional Users Manual for the Army

L0:Program Management; or

L1:(4) AMCOM REG 702-7, Flight Safety Parts/New Source Testing

L1:(5) Internal agency procedures.

L0:PGI 246.4?GOVERNMENT CONTRACT QUALITY ASSURANCE

L0:PGI 246.407-70 Nonconforming supplies or services.

L0:Additional information on delegation of authority for acceptance of minor

L0:nonconformances in aviation and ship critical safety items is available at

L0:<https://www.dla.mil/portals/104/documents/aviation/source%20approval%20handbook.p>

L0:df.

L0:PGI 246.470 Government contract quality assurance actions.

L0:PGI 246.470-2 Quality evaluation data.

L0:Types of quality evaluation data are?

L1:(1) Quality data developed by the contractor during performance;

L1:(2) Data developed by the Government through contract quality assurance actions;

L0:and

L1:(3) Reports by users and customers.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L0:PGI 246.472 Inspection stamping.

L2:(a)(i) There are two DoD quality inspection approval marking designs (stamps).

L1:(A) Both stamps are used?

L0:representative; and

L1:(1) Only by, or under the direct supervision of, the Government

L1:(2) For both prime and subcontracts.

L1:(B) The designs of the two stamps and the differences in their uses are?

L1:(1) Partial (Circle) Inspection Approval Stamp.

L0:conformance to only a portion of the contract quality requirements.

L1:(i) This circular stamp is used to identify material inspected for

L0:place.

L1:(ii) Further inspection is to be performed at another time and/or

L0:250 (Material Inspection and Receiving Report), packing list, or comparable document.

L1:(iii) Material not inspected is so listed on the associated DD Form

L1:(2) Complete (Square) Inspection Approval Stamp.

L0:inspected for all contract quality requirements at source.

L1:(i) This square stamp is used to identify material completely

L1:(ii) The material satisfies all contract quality requirements and is in

L0:complete conformance with all contract quality requirements applicable at the time and

L0:place of inspection.

L0:once was partially approved has subsequently been completely approved.

L1:(iii) Complete inspection approval establishes that material that

L0:circle stamp.

L1:(iv) One imprint of the square stamp voids multiple imprints of the

L1:(ii) The marking of each item is neither required nor prohibited. Ordinarily, the

L0:stamping of shipping containers, packing lists, or routing tickets serves to adequately

L0:indicate the status of the material and to control or facilitate its movement.

L1:(iii) Stamping material does not mean that it has been accepted by the

L0:Government. Evidence of acceptance is ordinarily a signed acceptance certificate on

L0:the DD Form 250, Material Inspection and Receiving Report.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L0:PGI 246.7?WARRANTIES

L0:PGI 246.701 Definitions.

L0:Duration, fixed expiration, starting event, usage, and warranty repair source are

L0:defined in the clause at 252.246-7006, Warranty Tracking of Serialized Items.

L0:PGI 246.710 RESERVED

L0:PGI 246.710-70 Warranty attachments.

L1:(1) The following attachments must be included in solicitations and awards to

L0:specify the required data elements for warranties of serialized items:

L1:(i) Warranty Tracking Information. This format is used to specify the required

L0:warranty tracking data elements and accomplish the electronic transmission of the list of

L0:warranty items. All fields of this attachment must be completed at the time of award,

L0:except the unique item identifier field, which may be completed after the time of award,

L0:but no later than when the warranted items are presented for receipt and/or acceptance.

L1:(ii) Source of Repair Instructions. This format is used to specify the required

L0:warranty source of repair data elements and accomplish the electronic transmission of

L0:the source of repair data for each warranty item. This attachment must be completed

L0:no later than when the warranted items are presented for receipt and/or acceptance.

L1:(2) Warranty attachments must be?

L1:(i) Completed electronically using the fillable PDF format or downloadable Excel

L0:format available on the Product Data Reporting and Evaluation Program (PDREP)

L0:website at https://www.pdrep.csd.disa.mil/pdrep_files/other/wsr.htm; and

L1:(ii) Numbered in accordance with PGI 204.

L1:(3) If the Government specifies a warranty, the contracting officer must request the

L0:requiring activity to provide information to ensure that the ?Warranty Tracking

L0:Information? attachment is populated with data specifying the Government?s required

L0:warranty terms by contract line item number, subline item number, or exhibit line item

L0:number prior to solicitation. One of the following is required to populate the attachment

L0:for each warranted item: starting event, usage, duration, or fixed expiration date.

L1:(4) If the Government does not specify a warranty, the contracting officer may

L0:require offerors to provide warranty data by populating the ?Warranty Tracking

L0:Information? attachment, as appropriate, and include the attachment as part of its offer,

L0:in accordance with the provision at 252.246-7005, Notice of Warranty Tracking of

L0:Serialized Items.

L1:(5) As required in the clause at 252.246-7006, Warranty Tracking of Serialized

L0:Items, the contractor is required to provide the following information no later than the

L0:time of receipt and/or acceptance of warranted items:

L1:(i) The unique item identifier for each warranted item on the ?Warranty Tracking

L0:Information? attachment.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 46

L0:Defense FAR Supplement (DFARS) Part 246

L1:(ii) The warranty repair source information and instructions required by the

L0:Source of Repair Instructions? attachment.

L1:(6) The contracting officer must ensure the completed warranty attachments are

L0:uploaded to the Electronic Data Access (EDA) system (see DFARS part 204 for

L0:information on obtaining an EDA account).

L1:(7) For additional information on the warranty attachments, see the ?Warranty and

L0:Source of Repair? training and ?Warranty and Source of Repair Tracking User Guide?

L0:accessible on the PDREP site at

L0:https://www.pdrep.csd.disa.mil/pdrep_files/other/wsr.htm.

PART 47

SUBPART 252.2 ? TEXT OF PROVISIONS AND CLAUSES

Status: active

L0:SUBPART 252.2?TEXT OF PROVISIONS AND CLAUSES

247.001 [Reserved]

Status: active

L0:247.001 [Reserved]

247.101 Policies

Status: active

L0:247.101 Policies.

L1:(h) Shipping documents covering f.o.b. origin shipments.

L1:(i) Procedures for the contractor to obtain bills of lading are in the clause at

L0:252.247-7028, Application for U.S. Government Shipping Documentation/Instructions.

L1:(ii) The term "commercial bills of lading" includes the use of any commercial

L0:form or procedure.

247.200 Scope of subpart

Status: active

L0:247.200 Scope of subpart.

L0:This subpart does not apply to the operation of vessels owned by, or bareboat chartered

L0:by, the Government. See additional guidance at PGI 247.200 for procurement of

L0:transportation or related services.

247.206 [Reserved]

Status: active

L0:247.206 [Reserved]

247.207 Solicitation provisions, contract clauses, and special requirements

Status: active

L0:247.207 Solicitation provisions, contract clauses, and special requirements.

L1:(1) Insert the clause at 252.247-7003, Pass-Through of Motor Carrier Fuel

L0:Surcharge Adjustment to the Cost Bearer, in solicitations and contracts, including

L0:solicitations and contracts using FAR part 12 procedures for the acquisition of
L0:commercial products and commercial services, that are for carriage in which a motor
L0:carrier, broker, or freight forwarder will provide or arrange truck transportation
L0:services that provide for a fuel-related adjustment.
L1:(2) Insert the clause at 252.247-7028, Application for U.S. Government Shipping
L0:Documentation/Instructions in solicitations and contracts, including solicitations and
L0:contracts using FAR part 12 procedures for the acquisition of commercial products and
L0:commercial services, when shipping under Bills of Lading and Domestic Route Order
L0:under FOB origin contracts, Export Traffic Release regardless of FOB terms, or foreign
L0:military sales shipments.

247.270 Stevedoring contracts

Status: active

L0:247.270 Stevedoring contracts.

247.270-1 [Reserved]

Status: active

L0:247.270-1 [Reserved]

247.270-2 Technical provisions

Status: active

L0:247.270-2 Technical provisions.
L0:See PGI 247.270-2 for guidance regarding technical provisions of stevedoring contracts.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47
L0:Defense FAR Supplement (DFARS) Part 247

247.270-3 Evaluation of bids and proposals

Status: active

L0:247.270-3 Evaluation of bids and proposals.
L0:As a minimum, require that offers include?
L1:(a) Tonnage or commodity rates that apply to the bulk of the cargo worked under
L0:normal conditions;
L1:(b) Labor-hour rates that apply to services not covered by commodity rates, or to
L0:work performed under hardship conditions; and
L1:(c) Rates for equipment rental.

247.270-4 Contract clauses

Status: active

L0:247.270-4 Contract clauses.

L0:Insert the following clauses in solicitations and contracts for stevedoring services as

L0:indicated:

L1:(a) 252.247-7000, Hardship Conditions.

L1:(b) 252.247-7002, Revision of Prices, when using negotiation.

L1:(c) 252.247-7007, Liability and Insurance.

247.271 Contracts for the preparation of personal property for shipment or

Status: active

L0:247.271 Contracts for the preparation of personal property for shipment or

L0:storage or for performance of intra-city or intra-area movement.

247.271-1 Policy

Status: active

L0:247.271-1 Policy.

L0:When establishing maximum requirements-minimum capability?

L1:(1) Establish realistic quantities on the Estimated Quantities Report in DoD

L0:4500.9-R, Defense Transportation Regulation, Part IV;

L1:(2) Ensure that the Government's minimum acceptable daily capability?

L1:(i) Will at least equal the maximum authorized individual weight allowance

L0:as prescribed by the Joint Federal Travel Regulations; and

L1:(ii) Will encourage maximum participation of small business concerns as

L0:offerors.

247.271-2 Procedures

Status: active

L0:247.271-2 Procedures.

L0:Follow the procedures at PGI 247.271-2 for contracting for the preparation of personal

L0:property for shipment or storage.

247.271-3 Solicitation provisions, schedule formats, and contract clauses

Status: active

L0:247.271-3 Solicitation provisions, schedule formats, and contract clauses.

L0:When acquiring services for the preparation of personal property for movement or

L0:storage, or for performance of intra-city or intra-area movement, use the following

L0:provisions, clauses, and schedules. Revise solicitation provisions and schedules, as

L0:appropriate, if using negotiation rather than sealed bidding. Overseas commands,

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47
L0:Defense FAR Supplement (DFARS) Part 247
L0:except those in Alaska and Hawaii, may modify these clauses to conform to local
L0:practices, laws, and regulations.
L1:(a) In solicitations and resulting contracts, use the schedules provided by the
L0:installation personal property shipping office. Follow the procedures at PGI 247.271-
L0:3(c).
L1:(b) In addition to designating each ordering activity, as required by the clause at
L0:FAR 52.216-18, Ordering, identify by name or position title the individuals authorized
L0:to place orders for each activity.
L1:(c) The clause at 252.247-7014, Demurrage. See additional information at PGI
L0:247.271-3(c)(1) for demurrage and detention charges.
L1:(d) The clause at 252.247-7016, Contractor Liability for Loss and Damage.
L1:(e) The clauses at FAR 52.247-8, Estimated Weight or Quantities Not Guaranteed,
L0:and FAR 52.247-13, Accessorial Services?Moving Contracts.

247.272 Preparation of solicitations and contracts

Status: active

L0:247.272 Preparation of solicitations and contracts.
L0:Consider using the following as evaluation factors or subfactors:
L1:(1) Record of claims involving loss or damage; and
L1:(2) Commitment of transportation assets to readiness support (e.g., Civil Reserve
L0:Air Fleet and Voluntary Intermodal Sealift Agreement).

247.301 General

Status: active

L0:247.301 General.
L0:See PGI 247.301 for transportation guidance relating to Government Purchase Card
L0:purchases.

247.301-70 [Reserved]

Status: active

L0:247.301-70 [Reserved]

247.301-71 Evaluation factor or subfactor

Status: active

L0:247.301-71 Evaluation factor or subfactor.
L0:For contracts that will include a significant requirement for transportation of items

L0:outside the contiguous United States, include an evaluation factor or subfactor that
L0:favors suppliers, third-party logistics providers, and integrated logistics managers that
L0:commit to using carriers that participate in one of the readiness programs (e.g., Civil
L0:Reserve Air Force Fleet and Voluntary Intermodal Sealift Agreement).

247.305 Solicitation provisions, contract clauses, and transportation factors

Status: active

L0:247.305 Solicitation provisions, contract clauses, and transportation factors.

247.305-10 Packing, marking, and consignment instructions

Status: active

L0:247.305-10 Packing, marking, and consignment instructions.
L0:Follow the procedures at PGI 247.305-10 for preparation of consignment instructions.

247.370 DD Form 1384, Transportation Control and Movement Document

Status: active

L0:247.370 DD Form 1384, Transportation Control and Movement Document.
L0:See PGI 247.370 regarding DD Form 1384.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47
L0:Defense FAR Supplement (DFARS) Part 247

247.371 DD Form 1653, Transportation Data for Solicitations

Status: active

L0:247.371 DD Form 1653, Transportation Data for Solicitations.
L0:See PGI 247.371 regarding DD Form 1653.

247.372 DD Form 1654, Evaluation of Transportation Cost Factors

Status: active

L0:247.372 DD Form 1654, Evaluation of Transportation Cost Factors.
L0:Contracting personnel may use the DD Form 1654 to furnish information to the
L0:transportation office for development of cost factors for use by the contracting officer in the
L0:evaluation of f.o.b. origin offers.

L0:PGI 247.5?OCEAN TRANSPORTATION BY U.S.-FLAG VESSELS

L0:PGI 247.573 General.
L1:(a) Delegated authority.
L1:(1) The authority to make determinations that a U.S.-flag vessel is not available at a
L0:fair and reasonable rate for commercial vessels of the United States, or is otherwise not

L0:available, is delegated in the Secretary of Defense Memorandum dated August 25, 2021,

L0:to?

L1:(i) The Commander, United States Transportation Command (USTRANSCOM);

L0:and

L1:(ii) The Secretary of the Navy.

L1:(2) In accordance with the Commander, USTRANSCOM, Memorandum dated

L0:March 1, 2023, the authority at paragraph (a)(1) of this section is further delegated as

L0:follows:

L1:(i) The Director, Acquisition (TCAQ) is delegated the authority to make

L0:determinations that a U.S.-flag vessel is not available for liner or intermodal services at a fair

L0:and reasonable rate for commercial vessels of the United States.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(ii) The Commander, United States Army Transportation Command

L1:(ARTRANS) is delegated the authority to make determinations that a U.S.-flag vessel is

L0:otherwise not available for liner or intermodal services.

L1:(iii) The Commander, Military Sealift Command (MSC) is delegated the

L0:authority to make determinations that a U.S.-flag vessel is not available at a fair and

L0:reasonable rate for commercial vessels of the United States or is otherwise not available for

L0:charter contracts.

L1:(3) In accordance with the Secretary of the Navy Memorandum dated March 3,

L0:2022, the Commander, MSC is delegated the authority to make determinations that a U.S.-

L0:flag vessel is not available at a fair and reasonable rate for commercial vessels of the United

L0:States or is otherwise not available for charter contracts.

L1:(4) Contracting officers are not delegated the authority at paragraph (a)(1) of this

L0:section and therefore are not authorized to waive the use of U.S.-flag vessels.

L1:(b) Procedures.

L1:(1) Follow these procedures when ocean transportation is not the principal purpose

L0:of the contract, and the cargo to be transported is owned by, destined for use by, or

L0:otherwise transported by DoD.

L2:(i)(A) If the contractor notifies the contracting officer that the contractor

L0:considers that no U.S.-flag vessels are available, review that notification. If the contracting

L0:officer agrees with the contractor's request, then request a nonavailability waiver, in

L0:determination and findings format, using details received from the contractor in accordance

L0:with paragraph (d) of the clause at DFARS 252.247-7023, from?

L0:Management Directorate, MSC (MSC_N103_FFW@us.navy.mil), for vessel charters; or

L1:(1) The Commander, MSC, through the Contracts and Business

L0:usarmy.scott.sddc.mbx.g3

L0:ffw-team@army.mil for ocean liner and intermodal transportation.

L1:(2) The Commander, ARTRANS, by email at

L1:(B) Pursuant to their delegations from the Secretary of the Navy or the

L0:?

L0:Commander, USTRANSCOM, the Commander, MSC, or the Commander, ARTRANS, will

L0:make a determination to approve a waiver based on nonavailability of a U.S.-flag vessel.

L0:Upon receipt of an approved waiver, provide the contractor with written approval to use a

L0:non-U.S. flag carrier in accordance with that waiver. Variances from that approved waiver, including changing the foreign-flag vessel approved for use, may require a new request and approval from the cognizant waiver approval authority. Additionally, see contractors' bill of lading submission requirement at paragraph (e) of the clause at DFARS 252.247-7023.

L1:(ii) If the contractor notifies the contracting officer that the contractor considers that U.S.-flag carriers are not available at a fair and reasonable rate for commercial vessels of the United States, and if the contracting officer agrees with the contractor's assertion, then?

L1:(A) Prepare a waiver request in determination and findings format, and?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(1) Take into consideration that the Military Cargo Preference Act of 1904 is, in part, a subsidy of the U.S.-flag commercial shipping industry that recognizes that lower prices may be available from foreign-flag carriers. Therefore, a lower price for use of a foreign-flag vessel is not a sufficient basis, on its own, to determine that a U.S.-flag vessel is not available at a fair and reasonable rate for commercial vessels of the United States for the services sought. However, such a price differential may indicate a need for further review;

L1:(2) Include a description of efforts taken pursuant to FAR 15.405 to negotiate a reasonable price. For the purpose of FAR 15.405(d), this waiver request is the referral to a level above the contracting officer; and factors such as?

L1:(3) Include an analysis of price reasonableness, taking into account or for similar services;

L1:(i) A comparison of U.S.-flag rates charged on comparable routes,

L1:(ii) Any other relevant economic and financial considerations; and

L1:(B) Forward the waiver request to?

L0:Management Directorate, MSC (MSC_N103_FFW@us.navy.mil), for charters; or

L1:(1) The Commander, MSC, through the Contracts and Business

L1:(2) The USTRANSCOM Director of Acquisition, through the Sealift

L0:Services Division (transcom.scott.tcaq.mbx.i-foreign-flag-waiver@mail.mil), for ocean liner and intermodal transportation.

L1:(C) Pursuant to their delegations from the Secretary of the Navy and the Commander, USTRANSCOM, the Commander, MSC, or the USTRANSCOM Director of Acquisition, will make a determination whether to approve the request that a U.S.-flag vessel is not available at a fair and reasonable rate for commercial vessels of the United States. Upon receipt of an approved waiver, provide the contractor with written approval to use a non-U.S. flag carrier, in accordance with the terms of that waiver. Variances from that approved waiver, including changing the foreign-flag vessel approved for use, may require a new request and approval from the cognizant waiver approval authority. Additionally, see contractors' bill of lading submission requirement at paragraph (e)(1) of the clause at DFARS **L0:252.247-7023.**

L1:(2) Follow these procedures when the direct purchase of ocean transportation services is the principal purpose of the contract.

L1:(i) Direct purchase of ocean transportation may include?

L1:(A) Contracts for full or partial charter vessel services;
L1:(B) Dedicated contractor contracts for charter vessel services;
L1:(C) Ocean bills of lading;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47
L0:Defense FAR Supplement (DFARS) Part 247
L0:transportation services;
L1:(D) Subcontracts under Government contracts or agreements for ocean
L0:transportation is part of an intermodal movement); and
L1:(E) Ocean liner contracts (including contracts where ocean liner
L1:(F) Ferry service.
L1:(ii) Coordinate these acquisitions, as appropriate, with USTRANSCOM, the
L0:DoD single manager for commercial transportation and related services, other than Service-
L0:unique or theater-assigned transportation assets, in accordance with DoDD 4500.09,
L0:Transportation and Traffic Management, and DoDI 4500.57, Transportation and Traffic
L0:Management.
L1:(iii) All solicitations within the scope of this section must provide?
L0:Preference Act of 1904;
L1:(A) A preference for U.S.-flag vessels in accordance with the Military Cargo
L0:Intermodal Sealift Agreement (for cargo movement only); and
L1:(B) An evaluation criterion for offeror participation in the Voluntary
L1:(C) An evaluation criterion considering the extent to which offerors have
L0:had overhaul, repair, and maintenance work for all covered vessels in an offeror?s fleet
L0:performed in shipyards located in the United States or Guam as applicable under DFARS
L0:247.572(d).
L1:(iv) Do not award a contract of the type described in paragraph (b)(2)(i) of this
L0:section for a foreign-flag vessel unless?
L0:waiver that no U.S.-flag vessels are available;
L1:(A) The Commander, MSC, or the Commander, ARTRANS, has issued a
L1:(1) The Commander, MSC, and the Commander, ARTRANS, are
L0:authorized to issue waivers regarding the availability of U.S.-flag vessels to ensure the
L0:proper use of Government and private U.S. vessels;
L1:(2) Request such waivers?
L0:Management Directorate, MSC (MSC_N103_FFW@us.navy.mil); and
L1:(i) For vessel charters, through the Contracts and Business
L0:contracts for shipment of military household goods and privately-owned vehicles, through
L0:ARTRANS by email at usarmy.scott.sddc.mbx.g3
L0:ffw-team@army.mil;
L1:(ii) For ocean liner and intermodal transportation, including
L1:(3) For ocean liner and intermodal transportation, in the absence of
L0:regularly scheduled U.S.-flag service to fulfill stated DoD requirements, the Commander,
L0:ARTRANS, may grant, on a case-by-case basis, an on-going nonavailability waiver for
L0:foreign-flag service approval with predetermined review date(s);
L0:?
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47
L0:Defense FAR Supplement (DFARS) Part 247

L0:determination and findings format and forward the waiver request to?

L1:(4) Prepare a waiver request documenting nonavailability in

L1:(i) The Commander, MSC, through the Contracts and Business

L0:Management Directorate, MSC (MSC_N103_FFW@us.navy.mil), for vessel charters; or

L0:usarmy.scott.sddc.mbx.g3-ffw-team@mail.mil for ocean liner and intermodal transportation;

L0:and

L1:(ii) The Commander, ARTRANS, by email at

L0:written approval to use a non-U.S. flag carrier, in accordance with that waiver.

L1:(5) Upon receipt of an approved waiver, provide the contractor with

L1:(B) Pursuant to their delegations from the Secretary of the Navy and the

L0:Commander, USTRANSCOM, the Commander, MSC, or the USTRANSCOM Director of

L0:Acquisition possess approval authority to grant a waiver based on nonavailability of a U.S.-

L0:flag vessel based on a determination that the proposed freight charges for U.S.-flag vessels

L0:are not fair and reasonable for commercial vessels of the United States.

L1:(1) After considering the factors in paragraph (b)(1)(ii)(A)(1) of this

L0:section, if the contracting officer concludes that the freight or charter charges proposed by

L0:U.S.-flag carriers may not be fair and reasonable for commercial vessels of the United

L0:States, then prepare a waiver request in determination and findings format that includes?

L0:negotiate a reasonable price. For the purpose of FAR 15.405(d), this waiver request is the

L0:referral to a level above the contracting officer; and

L1:(i) A description of efforts taken pursuant to FAR 15.405 to

L0:factors such as those listed at paragraph (b)(1)(ii)(A)(3) of this section.

L1:(ii) An analysis of price reasonableness, taking into consideration

L1:(2) Forward the waiver request to?

L0:Management Directorate, MSC (MSC_N103_FFW@us.navy.mil), for vessel charters; or

L1:(i) The Commander, MSC, through the Contracts and Business

L0:Services Division (transcom.scott.tcaq.mbx.i-foreign-flag-waiver@mail.mil).

L1:(ii) The USTRANSCOM Director of Acquisition, through the Sealift

L1:(3) Upon receipt of a an approved waiver, provide the contractor with

L0:written approval to use a non-U.S. flag carrier, in accordance with

L0:that waiver.

L1:(3) When security background checks are required pursuant to paragraph (c)(2) of

L0:the clause at DFARS 252.247-7027, Riding Gang Member Requirements, specify in the

L0:contract the responsible security office to coordinate a Tier 1 investigation pursuant to

L0:Federal Investigations Notice 15-03, dated November 4, 2014. Accordingly, specify in the

L0:contract the requirement for Tier 1 investigations to satisfy the requirement for background

L0:checks at paragraph (c)(2) of the clause at DFARS 252.247-7027.

247.570 Scope

L0:247.570 Scope.

L0:This subpart?

L1:(a) Implements?

Status: active

L1:(1) The Military Cargo Preference Act of 1904 (?the 1904 Act?), 10 U.S.C. 2631,
L0:which applies to the ocean transportation of cargo owned by, destined for use by, or
L0:otherwise transported by DoD;

L1:(2) Section 1017 of the National Defense Authorization Act (NDAA) for Fiscal
L0:Year (FY) 2007 (Pub. L. 109-364) (10 U.S.C. 2631 note), which requires consideration, in
L0:solicitations requiring a covered vessel, of the extent to which offerors have had
L0:overhaul, repair, and maintenance work performed in shipyards located in the United
L0:States or Guam;

L1:(3) Section 3504 of the NDAA for FY 2009 (Pub. L. 110-417) (10 U.S.C. chapter
L0:257 note), which addresses requirements that apply to riding gang members and DoD-
L0:exempted individuals (see 252.247-7027(c)) who perform work on U.S.-flag vessels
L0:under DoD contracts for transportation services documented under 46 U.S.C. chapter
L0:121; and

L1:(4) Section 1024 of the NDAA for FY 2021 (Pub. L. 116-283), which updates the
L0:listed circumstances where DoD may waive the requirement that DoD supplies be
L0:transported by sea in vessels belonging to the United States or vessels of the United
L0:States, and it modifies the requirement for reflagging or repair work in the United
L0:States for vessels used under time-charter contracts.

L1:(b) Does not specifically implement the Cargo Preference Act of 1954 (?the 1954
L0:Act?), 46 U.S.C. chapter 553. The 1954 Act is applicable to DoD, but DFARS coverage is
L0:not required because compliance with the 1904 Act historically has resulted in DoD
L0:exceeding the 1954 Act's requirements; and

L1:(c) Does not implement?

L1:(1) Section 27 of the Merchant Marine Act, 1920 (46 U.S.C. chapters 121 and
L0:552), commonly known as the ?Jones Act,? for the application of coastwise trade; or

L1:(2) Waivers thereof pursuant to 46 U.S.C. 501.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47
L0:Defense FAR Supplement (DFARS) Part 247

247.571 Definitions

Status: active

L0:247.571 Definitions.

L0:As used in this subpart?

L0:?Corrective and preventive maintenance or repair? means?

L1:(1) Maintenance or repair actions performed as a result of a failure in order to
L0:return or restore equipment to acceptable performance levels; and

L1:(2) Scheduled maintenance or repair actions to prevent or discover functional
L0:failures.

L0:?Covered vessel? means a vessel?

L1:(1) Owned, operated, or controlled by the offeror; and

L1:(2) Qualified to engage in the carriage of cargo in the coastwise or noncontiguous
L0:trade under 46 U.S.C. 12112 and 50501 and 46 U.S.C. chapter 551.

L0:?Foreign-flag vessel? means any vessel that is not a U.S.-flag vessel.

L0:Ocean transportation? means any water-borne transportation aboard a ship, vessel, boat, barge, ferry, or the like outside the internal waters of the United States (as defined in 33 CFR 2.24).

L0:Overhaul, repair, and maintenance work? means work requiring a shipyard period greater than or equal to 5 calendar days.

L0:Reflagging or repair work? means work performed on a vessel?

L1:(1) To enable the vessel to meet applicable standards to become a vessel of the United States; or

L1:(2) To convert the vessel to a more useful military configuration.

L0:Supplies? means supplies that are clearly identifiable for eventual use by or owned by DoD at the time of transportation by sea, or are otherwise transported by DoD, regardless of ownership or use by DoD. An item is clearly identifiable for eventual use by DoD if, for example, the contract documentation contains a reference to a DoD contract number or a military destination.

L0:U.S.-flag vessel? means either a vessel belonging to the United States or a vessel of the United States as that term is defined in 46 U.S.C. 116.

247.572 Policy

Status: active

L0:247.572 Policy.

L1:(a) In accordance with 10 U.S.C. 2631(a), DoD contractors are required to transport supplies exclusively on U.S.-flag vessels. In accordance with 10 U.S.C. 2631(b), DoD (see 247.573(a)) may waive this requirement when a U.S.-flag vessel?

L1:(1) Is not available at a fair and reasonable rate for commercial vessels of the United States; or

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(2) Is not otherwise available.

L1:(b) Contracts must provide for the use of vessels belonging to the United States when security classifications prohibit the use of other than vessels belonging to the United States.

L1:(c) In accordance with 10 U.S.C. 2631(c)?

L1:(1) Any vessel used under a time charter contract for the transportation of supplies under this section are required to have the following work performed in the United States or its outlying areas:

L1:(i) Reflagging or repair work, if the reflagging or repair work is performed? to the solicitation for the contract; and

L1:(A) On a vessel for which the contractor submitted an offer in response

L1:(B) Prior to acceptance of the vessel by the Government.

L1:(ii) Corrective and preventive maintenance or repair work for the duration of the contract, to the greatest extent practicable.

L1:(2) The Secretary of Defense may waive this requirement if the Secretary determines that such waiver is critical to the national security of the United States. In

L0:accordance with 10 U.S.C. 2631(c)(2), DoD must immediately submit, in writing, a
L0:notice to the congressional committees listed at 10 U.S.C. 2631(e) of such a waiver and
L0:the reason for the waiver.
L1:(d) In accordance with section 1017 of the NDAA for FY 2007 (Pub. L. 109-364),
L0:when obtaining carriage requiring a covered vessel, the consider the extent to which
L0:offerors have had overhaul, repair, and maintenance work for covered vessels
L0:performed in shipyards located in the United States or Guam.
L1:(e) In accordance with section 3504 of the NDAA for FY 2009 (Pub. L. 110-417), do
L0:not award, renew or extend, or exercise an option under a charter of, or contract for
L0:carriage of cargo by, a U.S.-flag vessel documented under 46 U.S.C. chapter 121, unless
L0:the contract contains the clause at 252.247-7027.

247.573 General

Status: active

L0:247.573 General.
L1:(a) Delegated authority. Pursuant to 10 U.S.C. 2631(b)(2), the Secretary of Defense
L0:has delegated (see PGI 247.573) the authority to make determinations either that a
L0:U.S.-flag vessel is not available at a fair and reasonable rate for commercial vessels of
L0:the United States or is otherwise not available to?
L1:(1) The Commander, United States Transportation Command; and
L1:(2) The Secretary of the Navy.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47
L0:Defense FAR Supplement (DFARS) Part 247
L1:(b) Procedures. (1) Follow the procedures at PGI 247.573(b)(1) when purchase of
L0:ocean transportation services is incidental to a contract for supplies, services, or
L0:construction.
L1:(2) Follow the procedures at PGI 247.573(b)(2) when direct purchase of ocean
L0:transportation services is the principal purpose of the contract.
L1:(3) See PGI 247.573(b)(3) for agency and department procedures relating to
L0:annual reporting requirements of waivers granted for nonavailability of U.S.-flag
L0:vessels.
L1:(4) Follow the procedures at PGI 247.573(b)(4) to accomplish security
L0:background checks pursuant to clause 252.247-7027, Riding Gang Member
L0:Requirements.
L2:(5)(i) In accordance with 10 U.S.C. 2631(d), exercise contractual rights and
L0:remedies against contractors who fail to comply. Such remedies may include the
L0:determination that a contractor is ineligible for award of future contracts, termination
L0:of an existing contract, or suspension or debarment of the contractor. See part 242
L0:regarding assessments of the contractor's past performance.
L1:(ii) Consider an equitable adjustment in the event of a contractor's
L0:unauthorized use of foreign-flag vessels in the performance of a contract.

247.574 Solicitation provisions and contract clauses

Status: active

L0:247.574 Solicitation provisions and contract clauses.

L1:(a) Insert the basic or one of the alternates of the clause at 252.247-7023,

L0:Transportation of Supplies by Sea, in solicitations and contracts, including solicitations

L0:and contracts using FAR part 12 procedures for the acquisition of commercial products

L0:and commercial services, except those for direct purchase of ocean transportation

L0:services.

L1:(1) Insert the basic clause unless any of the supplies to be transported are

L0:commercial products and commercial services that are?

L1:(i) Shipped in direct support of U.S. military contingency operations,

L0:exercises, or forces deployed in humanitarian or peacekeeping operations when the

L0:contract is not a construction contract; or

L1:(ii) Commissary or exchange cargoes transported outside of the Defense

L0:Transportation System when the contract is not a construction contract.

L1:(2) Insert the alternate I clause if any of the supplies to be transported are

L0:commercial products and commercial services that are shipped in direct support of U.S.

L0:military contingency operations, exercises, or forces deployed in humanitarian or

L0:peacekeeping operations when the contract is not a construction contract.

L1:(3) Insert the alternate II clause if any of the supplies to be transported are

L0:commercial products and commercial services that are commissary or exchange cargoes

L0:transported outside of the Defense Transportation System (10 U.S.C. 2643), when the

L0:contract is not a construction contract.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(b) Insert the clause at 252.247-7025, Reflagging or Repair Work, in all time charter

L0:solicitations and contracts, including time charter solicitations and contracts using FAR

L0:part 12 procedures for the acquisition of commercial products and commercial services,

L0:for the use of a vessel for the transportation of supplies, unless a waiver applies (see

L0:247.572(c)(2)).

L1:(c) Insert the provision at 252.247-7026, Evaluation Preference for Use of Domestic

L0:Shipyards?Applicable to Acquisition of Carriage by Vessel for DoD Cargo in the

L0:Coastwise or Noncontiguous Trade, in solicitations, including solicitations using FAR

L0:part 12 procedures for the acquisition of commercial products and commercial services,

L0:that require a covered vessel for carriage of cargo for DoD.

L1:(d) Insert the clause at 252.247-7027, Riding Gang Member Requirements, in

L0:solicitations and contracts, including solicitations and contracts using FAR part 12

L0:procedures for the acquisition of commercial products and commercial services, for the

L0:charter of, or contract for carriage of cargo by, a U.S.-flag vessel documented 46 U.S.C.

L0:chapter 121.

252.247-7000 Hardship conditions

Status: active

L0:252.247-7000 Hardship conditions.

L0:As prescribed in 247.270-4(a), use the following clause:

L0:HARDSHIP CONDITIONS (AUG 2000)

L1:(a) If the Contractor finds unusual ship, dock, or cargo conditions associated with

L0:loading or unloading a particular cargo, that will work a hardship on the Contractor if

L0:loaded or unloaded at the basic commodity rates, the Contractor shall?

L1:(1) Notify the Contracting Officer before performing the work, if feasible, but no

L0:later than the vessel sailing time; and

L1:(2) Submit any associated request for price adjustment to the Contracting

L0:Officer within 10 working days of the vessel sailing time.

L1:(b) Unusual conditions include, but are not limited to, inaccessibility of place of

L0:stowage to the ship's cargo gear, side port operations, and small quantities of cargo in

L0:any one hatch.

L1:(c) The Contracting Officer will investigate the conditions promptly after receiving

L0:the notice. If the Contracting Officer finds that the conditions are unusual and do

L0:materially affect the cost of loading or unloading, the Contracting Officer will authorize

L0:payment at the applicable man-hour rates set forth in the schedule of rates of this

L0:contract.

252.247-7001 [Reserved]

Status: active

L0:252.247-7001 [Reserved]

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

252.247-7002 Revision of prices

Status: active

L0:252.247-7002 Revision of prices.

L0:As prescribed in 247.270-4(b), use the following clause:

L0:REVISION OF PRICES (DEC 1991)

L1:(a) Definition. Wage adjustment, as used in this clause, means a change in the

L0:wages, salaries, or other terms or conditions of employment which?

L1:(1) Substantially affects the cost of performing this contract;

L1:(2) Is generally applicable to the port where work under this contract is

L0:performed; and

L1:(3) Applies to operations by the Contractor on non-Government work as well as

L0:to work under this contract.

L1:(b) General. The prices fixed in this contract are based on wages and working

L0:conditions established by collective bargaining agreements, and on other conditions in

L0:effect on the date of this contract. The Contracting Officer and the Contractor may

L0:agree to increase or decrease such prices in accordance with this clause.

L1:(c) Demand for negotiation. (1) At any time, subject to the limitations specified in

L0:this clause, either the Contracting Officer or the Contractor may deliver to the other a

L0:written demand that the parties negotiate to revise the prices under this contract.

L1:(2) No such demand shall be made before 90 days after the date of this contract,

L0:and thereafter neither party shall make a demand having an effective date within 90

L0:days of the effective date of any prior demand. However, this limitation does not apply

L0:to a wage adjustment during the 90 day period.

L1:(3) Each demand shall specify a date (the same as or subsequent to the date of

L0:the delivery of the demand) as to when the revised prices shall be effective. This date is

L0:the effective date of the price revision.

L1:(i) If the Contractor makes a demand under this clause, the demand shall

L0:briefly state the basis of the demand and include the statements and data referred to in

L0:paragraph (d) of this clause.

L1:(ii) If the demand is made by the Contracting Officer, the Contractor shall

L0:furnish the statements and data within 30 days of the delivery of the demand.

L1:(d) Submission of data. At the times specified in paragraphs (c)(3)(i) and (ii) of this

L0:clause, the Contractor shall submit?

L1:(1) A new estimate and breakdown of the unit cost and the proposed prices for

L0:the services the Contractor will perform under this contract after the effective date of

L0:the price revision, itemized to be consistent with the original negotiations of the

L0:contract;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(2) An explanation of the difference between the original (or last preceding)

L0:estimate and the new estimate;

L1:(3) Such relevant operating data, cost records, overhead absorption reports, and

L0:accounting statements as may be of assistance in determining the accuracy and

L0:reliability of the new estimate;

L1:(4) A statement of the actual costs of performance under this contract to the

L0:extent that they are available at the time of the negotiation of the revision of prices

L0:under this clause; and

L1:(5) Any other relevant data usually furnished in the case of negotiations of

L0:prices under a new contract. The Government may examine and audit the Contractor's

L0:accounts, records, and books as the Contracting Officer considers necessary.

L1:(e) Negotiations. (1) Upon the filing of the statements and data required by

L0:paragraph (d) of this clause, the Contractor and the Contracting Officer shall negotiate

L0:promptly in good faith to agree upon prices for services the Contractor will perform on

L0:and after the effective date of the price revision.

L1:(2) If the prices in this contract were established by competitive negotiation,

L0:they shall not be revised upward unless justified by changes in conditions occurring

L0:after the contract was awarded.

L1:(3) The agreement reached after each negotiation will be incorporated into the

L0:contract by supplemental agreement.

L1:(f) Disagreements. If, within 30 days after the date on which statements and data are

L0:required pursuant to paragraph (c) of this clause, the Contracting Officer and the Contractor fail to agree to revised prices, the failure to agree shall be resolved in accordance with the Disputes clause of this contract. The prices fixed by the Contracting Officer will remain in effect for the balance of the contract, and the Contractor shall continue performance.

L1:(g) Retroactive changes in wages or working conditions. (1) In the event of a retroactive wage adjustment, the Contractor or the Contracting Officer may request an equitable adjustment in the prices in this contract.

L1:(2) The Contractor shall request a price adjustment within 30 days of any retroactive wage adjustment. The Contractor shall support its request with?

L1:(i) An estimate of the changes in cost resulting from the retroactive wage adjustment;

L1:(ii) Complete information upon which the estimate is based; and

L1:(iii) A certified copy of the collective bargaining agreement, arbitration award, or other document evidencing the retroactive wage adjustment.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(3) Subject to the limitation in paragraph (g)(2) of this clause as to the time of making a request, completion or termination of this contract shall not affect the Contractor's right under paragraph (g) of this clause.

L1:(4) In case of disagreement concerning any question of fact, including whether any adjustment should be made, or the amount of such adjustment, the disagreement will be resolved in accordance with the Disputes clause of this contract.

L1:(5) The Contractor shall notify the Contracting Officer in writing of any request by or on behalf of the employees of the Contractor which may result in a retroactive wage adjustment. The notice shall be given within 20 days after the request, or if the request occurs before contract execution, at the time of execution.

L0:(End of clause)

252.247-7003 Pass-Through of Motor Carrier Fuel Surcharge Adjustment To

Status: active

L0:252.247-7003 Pass-Through of Motor Carrier Fuel Surcharge Adjustment To The Cost Bearer.

L0:As prescribed in 247.207, use the following clause:

L0:PASS-THROUGH OF MOTOR CARRIER FUEL SURCHARGE ADJUSTMENT TO THE COST BEARER (JAN 2023)

L1:(a) This clause implements section 884 of the National Defense Authorization Act for Fiscal Year 2009 (Pub. L. 110-417).

L1:(b) Unless an exception is authorized by the Contracting Officer, the Contractor shall pass through any motor carrier fuel-related surcharge adjustments to the person, corporation, or entity that directly bears the cost of fuel for shipment(s) transported under this contract.

L1:(c) Subcontracts. The Contractor shall insert the substance of this clause, including

L0:this paragraph (c), in all subcontracts, including subcontracts for commercial products
L0:or commercial services, with motor carriers, brokers, or freight forwarders.
L0:(End of clause)
L0:252.247-7004--252.247-7006 [Reserved]

252.247-7007 Liability and insurance

Status: active

L0:252.247-7007 Liability and insurance.

L0:As prescribed in 247.270-4(c), use the following clause:

L0:LIABILITY AND INSURANCE (DEC 1991)

L1:(a) The Contractor shall be?

L1:(1) Liable to the Government for loss or damage to property, real and personal,
L0:owned by the Government or for which the Government is liable;

L1:(2) Responsible for, and hold the Government harmless from, loss of or damage
L0:to property not included in paragraph (a)(1); and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(3) Responsible for, and hold the Government harmless from, bodily injury and
L0:death of persons, resulting either in whole or in part from the negligence or fault of the
L0:Contractor, its officers, agents, or employees in the performance of work under this
L0:contract.

L1:(b) For the purpose of this clause, all cargo loaded or unloaded under this contract is
L0:agreed to be property owned by the Government or property for which the Government
L0:is liable.

L1:(1) The amount of the loss or damage as determined by the Contracting Officer
L0:will be withheld from payments otherwise due the Contractor.

L1:(2) Determination of liability and responsibility by the Contracting Officer will
L0:constitute questions of fact within the meaning of the Disputes clause of this contract.

L1:(c) The general liability and responsibility of the Contractor under this clause are
L0:subject only to the following specific limitations. The Contractor is not responsible to the
L0:Government for, and does not agree to hold the Government harmless from, loss or
L0:damage to property or bodily injury to or death of persons if?

L1:(1) The unseaworthiness of the vessel, or failure or defect of the gear or
L0:equipment furnished by the Government, contributed jointly with the fault or
L0:negligence of the Contractor in causing such damage, injury, or death; and

L1:(i) The Contractor, his officers, agents, and employees, by the exercise of due
L0:diligence, could not have discovered such unseaworthiness or defect of gear or
L0:equipment; or

L1:(ii) Through the exercise of due diligence could not otherwise have avoided
L0:such damage, injury, or death.

L1:(2) The damage, injury, or death resulted solely from an act or omission of the
L0:Government or its employees, or resulted solely from proper compliance by officers,
L0:agents, or employees of the Contractor with specific directions of the Contracting

L0:Officer.

L1:(d) The Contractor shall at its own expense acquire and maintain insurance during
L0:the term of this contract, as follows?

L1:(1) Standard workmen's compensation and employer's liability insurance and
L0:longshoremen's and harbor workers' compensation insurance, or such of these as may
L0:be proper under applicable state or Federal statutes.

L1:(i) The Contractor may, with the prior approval of the Contracting Officer,
L0:be a self-insurer against the risk of this paragraph (d)(1).

L1:(ii) This approval will be given upon receipt of satisfactory evidence that the
L0:Contractor has qualified as a self-insurer under applicable provision of law.

L1:(2) Bodily injury liability insurance in an amount of not less than \$300,000 on
L0:account of any one occurrence.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(3) Property damage liability insurance (which shall include any and all
L0:property, whether or not in the care, custody, or control of the Contractor) in an amount
L0:of not less than \$300,000 for any one occurrence.

L1:(e) Each policy shall provide, by appropriate endorsement or otherwise, that
L0:cancellation or material change in the policy shall not be effective until after a 30 day
L0:written notice is furnished the Contracting Officer.

L1:(f) The Contractor shall furnish the Contracting Officer with satisfactory evidence of
L0:the insurance required in paragraph (d) before performance of any work under this
L0:contract.

L1:(g) The Contractor shall, at its own cost and expense, defend any suits, demands,
L0:claims, or actions, in which the United States might be named as a co-defendant of the
L0:Contractor, resulting from the Contractor's performance of work under this contract.
L0:This requirement is without regard to whether such suit, demand, claim, or action was
L0:the result of the Contractor's negligence. The Government shall have the right to
L0:appear in such suit, participate in defense, and take such actions as may be necessary
L0:to protect the interest of the United States.

L1:(h) It is expressly agreed that the provisions in paragraphs (d) through (g) of this
L0:clause shall not in any manner limit the liability or extend the liability of the Contractor
L0:as provided in paragraphs (a) through (c) of this clause.

L1:(i) The Contractor shall?

L1:(1) Equitably reimburse the Government if the Contractor is indemnified,
L0:reimbursed, or relieved of any loss or damage to Government property;

L1:(2) Do nothing to prevent the Government's right to recover against third
L0:parties for any such loss or damage; and

L1:(3) Furnish the Government, upon the request of the Contracting Officer, at the
L0:Government's expense, all reasonable assistance and cooperation in obtaining recovery,
L0:including the prosecution of suit and the execution of instruments of assignment in
L0:favor of the Government.

L0:(End of clause)

L0:252.247-7008--252.247-7013 [Reserved]

252.247-7014 Demurrage

Status: active

L0:252.247-7014 Demurrage.

L0:As prescribed in 247.271-3(c), use the following clause:

L0:DEMURRAGE (DEC 1991)

L0:The Contractor shall be liable for all demurrage, detention, or other charges as a result

L0:of its failure to load or unload trucks, freight cars, freight terminals, vessel piers, or

L0:warehouses within the free time allowed under applicable rules and tariffs.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L0:(End of clause)

252.247-7015 [Reserved]

Status: active

L0:252.247-7015 [Reserved]

252.247-7016 Contractor liability for loss or damage

Status: active

L0:252.247-7016 Contractor liability for loss or damage.

L0:As prescribed in 247.271-3(d), use the following clause:

L0:CONTRACTOR LIABILITY FOR LOSS OR DAMAGE (DEC 1991)

L1:(a) Definitions. As used in this clause?

L0:Article means any shipping piece or package and its contents.

L0:Schedule means the level of service for which specific types of traffic apply as described

L0:in DoD 4500.34-R, Personal Property Traffic Management Regulation.

L1:(b) For shipments picked up under Schedule I, Outbound Services, or delivered

L0:under Schedule II, Inbound Services?

L1:(1) If notified within one year after delivery that the owner has discovered loss

L0:or damage to the owner's property, the Contractor agrees to indemnify the Government

L0:for loss or damage to the property which arises from any cause while it is in the

L0:Contractor's possession. The Contractor's liability is?

L1:(i) Non-negligent damage. For any cause, other than the Contractor's

L0:negligence, indemnification shall be at a rate not to exceed sixty cents per pound per

L0:article.

L1:(ii) Negligent damage. When loss or damage is caused by the negligence of

L0:the Contractor, the liability is for the full cost of satisfactory repair or for the current

L0:replacement value of the article.

L1:(2) The Contractor shall make prompt payment to the owner of the property for

L0:any loss or damage for which the Contractor is liable.

L1:(3) In the absence of evidence or supporting documentation which places

L0:liability on a carrier or another contractor, the destination contractor shall be presumed

L0:to be liable for the loss or damage, if timely notified.

L1:(c) For shipments picked up or delivered under Schedule III, Intra-City and Intra-
L0:Area?

L1:(1) If notified of loss or damage within 75 days following delivery, the Contractor
L0:agrees to indemnify the Government for loss or damage to the owner's property.

L1:(2) The Contractor's liability shall be for the full cost of satisfactory repair, or for
L0:the current replacement value of the article less depreciation, up to a maximum liability
L0:of \$1.25 per pound times the net weight of the shipment.

L1:(3) The Contractor has full salvage rights to damaged items which are not repairable
L0:and for which the Government has received compensation at replacement value.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L0:(End of clause)

L0:252.247-7017--252.247-7021 [Reserved]

252.247-7022 [Reserved]

Status: active

L0:252.247-7022 [Reserved]

252.247-7023 Transportation of Supplies by Sea

Status: active

L0:252.247-7023 Transportation of Supplies by Sea.

L0:As prescribed in 247.574(a) and (a)(1), use the following basic clause:

L0:TRANSPORTATION OF SUPPLIES BY SEA?BASIC (OCT 2024)

L1:(a) Definitions. As used in this clause?

L0:Foreign-flag vessel means any vessel that is not a U.S.-flag vessel.

L0:Ocean transportation means any water-borne transportation aboard a ship, vessel, boat,
L0:barge, ferry, or the like outside the internal waters of the United States as defined in 33

L0:CFR 2.24.

L0:Subcontractor means a supplier, materialman, distributor, or vendor at any level below
L0:the prime contractor whose contractual obligation to perform results from, or is
L0:conditioned upon, award of the prime contract and who is performing any part of the
L0:work or other requirement of the prime contract.

L0:Supplies means supplies that are clearly identifiable for eventual use by or owned by
L0:DoD at the time of transportation by sea, or are otherwise transported by DoD,
L0:regardless of ownership or use by DoD. An item is clearly identifiable for eventual use
L0:by DoD if, for example, the contract documentation contains a reference to a DoD
L0:contract number or a military destination.

L0:U.S.-flag vessel means either a vessel belonging to the United States or a vessel of the
L0:United States as that term is defined in 46 U.S.C. 116.

L1:(b) If the transportation of supplies by sea is anticipated under this contract, the

L0:Contractor shall?

L1:(1) Notify the Contracting Officer and Maritime Administration (MARAD) at

L0:Cargo.Marad@dot.gov?

L1:(i) Within 3 business days after contract award; or

L1:(ii) Immediately prior to the shipment departure date necessary to meet

L0:delivery schedules, whichever is earlier; and

L1:(2) Include in the notification?

L1:(i) A statement of the Contractor's intent to transport supplies by sea;

L1:(ii) The contract number; and

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(iii) The task-order or delivery-order number, when applicable.

L2:(c)(1) The Contractor shall use U.S.-flag vessels when transporting any supplies by

L0:sea under this contract.

L1:(2) A subcontractor transporting supplies by sea under this contract shall use

L0:U.S.-flag vessels if?

L1:(i) This contract is a construction contract; or

L1:(ii) The supplies being transported are?

L1:(A) Other than commercial products or

L1:(B) Commercial products that?

L1:(1) The Contractor is reselling or distributing to the Government without adding

L0:value (generally, the Contractor does not add value to items that it contracts for f.o.b.

L0:destination shipment);

L1:(2) Are shipped in direct support of U.S. military contingency operations,

L0:exercises, or forces deployed in humanitarian or peacekeeping operations; or

L1:(3) Are commissary or exchange cargoes transported outside of the Defense

L0:Transportation System in accordance with 10 U.S.C. 2643.

L1:(d) The Contractor and its subcontractors may request, via the Contracting Officer, a

L0:waiver of the requirement to use a U.S.-flag vessel, or identification of any available

L0:U.S.-flag vessels, if the Contractor or a subcontractor sufficiently explains that?

L1:(1) U.S.-flag vessels are not available at a fair and reasonable rate for

L0:commercial vessels of the United States; or

L1:(2) U.S.-flag vessels are otherwise not available.

L1:(e) The Contractor must submit any request for use of foreign-flag vessels in writing

L0:to the Contracting Officer at least 45 days prior to the sailing date necessary to meet its

L0:delivery schedules. The Contracting Officer will process requests submitted after such

L0:date(s) as expeditiously as possible, however, if a DoD waiver is not approved prior to

L0:the shipper's sailing date, this will not of itself constitute a compensable delay under

L0:this or any other clause of this contract. Requests shall contain at a minimum?

L1:(1) Type, weight, and cube of cargo;

L1:(2) Required shipping date(s) and required delivery date(s);

L1:(3) Special handling and discharge requirements;

L1:(4) Loading and discharge points;

L1:(5) Name of shipper and consignee;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(6) Prime contract number; and

L1:(7) A documented description of current, diligent efforts made to secure U.S.-flag

L0:vessels, including points of contact (with names and telephone numbers) with at least

L0:two U.S.-flag carriers contacted. Copies of quotes will suffice for this purpose. Copies of

L0:telephone notes, emails, and other relevant communications will otherwise be

L0:considered for this purpose.

L1:(f) The Contractor shall, within 30 days after each shipment covered by this clause,

L0:provide the Contracting Officer and MARAD at Cargo.Marad@dot.gov, Attention:

L0:Military Team, one copy of the rated on board vessel operating carrier's ocean bill of

L0:lading, which shall contain the following information:

L1:(1) Prime contract number;

L1:(2) Name of vessel;

L1:(3) Vessel flag of registry;

L1:(4) Date of loading;

L1:(5) Port of loading;

L1:(6) Port of final discharge;

L1:(7) Description of commodity;

L1:(8) Gross weight in pounds and cubic feet if available;

L1:(9) Total ocean freight in U.S. dollars; and

L1:(10) Name of the carrier.

L1:(g) If this contract exceeds the simplified acquisition threshold, the Contractor shall

L0:provide with its final invoice under this contract a representation that to the best of its

L0:knowledge and belief?

L1:(1) No ocean transportation was used in the performance of this contract;

L1:(2) Ocean transportation was used and only U.S.-flag vessels were used for all

L0:ocean shipments under the contract;

L1:(3) Ocean transportation was used, and the Contractor had received a prior-

L0:approved waiver for U.S.-flag vessels for all foreign-flag ocean transportation; or

L1:(4) Ocean transportation was used and some or all of the shipments were made

L0:on foreign-flag vessels without the written consent of DoD. The Contractor shall

L0:describe these shipments in the following format:

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L0:Item Description

L0:Contract Line Items

L0:Quantity

L0:Total

L1:(h) If this contract exceeds the simplified acquisition threshold and the final invoice

L0:does not include the required representation, the Government will reject and return it

L0:to the Contractor as an improper invoice for the purposes of the Prompt Payment clause

L0:of this contract. In the event there has been unauthorized use of foreign-flag vessels in

L0:the performance of this contract, the Contracting Officer is entitled to equitably adjust

L0:the contract, based on the unauthorized use.

L1:(i) If the Contractor did not anticipate transporting any supplies by sea at the time

L0:of contract award and, therefore, did not provide the notification required by paragraph L1:(b) of this clause, but prior to shipment of supplies, the Contractor learns that supplies L0:will be transported by sea, the Contractor shall?

L1:(1) Provide the notification required by paragraph (b) of this clause to the L0:Contracting Officer and MARAD as soon as it is known that supplies will be L0:transported by sea; and

L1:(2) Comply with all the terms and conditions of this clause.

L1:(j) Subcontracts. In the award of subcontracts for the types of supplies described in L0:paragraph (c)(2) of this clause, including subcontracts for commercial products, the L0:Contractor shall flow down the requirements of this clause as follows:

L1:(1) The Contractor shall insert the substance of this clause, including this L0:paragraph (j), in subcontracts that exceed the simplified acquisition threshold in part 2 L0:of the Federal Acquisition Regulation.

L1:(2) The Contractor shall insert the substance of paragraphs (a) through (f) of L0:this clause, and this paragraph (j), in subcontracts that are at or below the simplified L0:acquisition threshold in part 2 of the Federal Acquisition Regulation.

L0:(End of clause)

L0:Alternate I. As prescribed in 247.574(a) and (a)(2), use the following clause, which uses L0:a different paragraph (c) than the basic clause:

L0:TRANSPORTATION OF SUPPLIES BY SEA?ALTERNATE I (OCT 2024)

L1:(a) Definitions. As used in this clause?

L0:Foreign-flag vessel means any vessel that is not a U.S.-flag vessel.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L0:Ocean transportation means any water-borne transportation aboard a ship, vessel, boat, L0:barge, ferry, or the like outside the internal waters of the United States as defined in 33

L0:CFR 2.24.

L0:Subcontractor means a supplier, materialman, distributor, or vendor at any level below L0:the prime contractor whose contractual obligation to perform results from, or is L0:conditioned upon, award of the prime contract and who is performing any part of the L0:work or other requirement of the prime contract.

L0:Supplies means supplies that are clearly identifiable for eventual use by or owned by L0:DoD at the time of transportation by sea, or are otherwise transported by DoD, L0:regardless of ownership or use by DoD. An item is clearly identifiable for eventual use L0:by DoD if, for example, the contract documentation contains a reference to a DoD L0:contract number or a military destination.

L0:U.S.-flag vessel means either a vessel belonging to the United States or a vessel of the L0:United States as that term is defined in 46 U.S.C. 116.

L1:(b) If the transportation of supplies by sea is anticipated under this contract, the L0:Contractor shall?

L1:(1) Notify the Contracting Officer and Maritime Administration (MARAD) at L0:Cargo.Marad@dot.gov?

L1:(i) Within 3 business days after contract award; or

L1:(ii) Immediately prior to the shipment departure date necessary to meet

L0:delivery schedules, whichever is earlier; and

L1:(2) Include in the notification?

L1:(i) A statement of the Contractor's intent to transport supplies by sea;

L1:(ii) The contract number; and

L1:(iii) The task-order or delivery-order number, when applicable.

L2:(c)(1) The Contractor shall use U.S.-flag vessels when transporting any supplies by
L0:sea under this contract.

L1:(2) A subcontractor transporting supplies by sea under this contract shall use

L0:U.S.-flag vessels if the supplies being transported are?

L1:(i) Other than commercial products; or

L1:(ii) Commercial products that?

L1:(A) The Contractor is reselling or distributing to the Government

L0:without adding value (generally, the Contractor does not add value to items that it

L0:subcontracts for f.o.b. destination shipment);

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(B) Are shipped in direct support of U.S. military contingency

L0:operations, exercises, or forces deployed in humanitarian or peacekeeping operations

L0:(Note: This contract requires shipment of commercial products in direct support of U.S.

L0:military contingency operations, exercises, or forces deployed in humanitarian or

L0:peacekeeping operations); or

L0:Defense Transportation System in accordance with 10 U.S.C. 2643.

L1:(C) Are commissary or exchange cargoes transported outside of the

L1:(d) The Contractor and its subcontractors may request, via the Contracting Officer, a

L0:waiver of the requirement to use a U.S.-flag vessel, or identification of any available

L0:U.S.-flag vessels, if the Contractor or a subcontractor sufficiently explains that?

L1:(1) U.S.-flag vessels are not available at a fair and reasonable rate for

L0:commercial vessels of the United States; or

L1:(2) U.S.-flag vessels are otherwise not available.

L1:(e) The Contractor must submit any request for use of foreign-flag vessels in writing

L0:to the Contracting Officer at least 45 days prior to the sailing date necessary to meet its

L0:delivery schedules. The Contracting Officer will process requests submitted after such

L0:date(s) as expeditiously as possible, however, if a DoD waiver is not approved prior to

L0:the shipper's sailing date, this will not of itself constitute a compensable delay under

L0:this or any other clause of this contract. Requests shall contain at a minimum?

L1:(1) Type, weight, and cube of cargo;

L1:(2) Required shipping date(s) and required delivery date(s);

L1:(3) Special handling and discharge requirements;

L1:(4) Loading and discharge points;

L1:(5) Name of shipper and consignee;

L1:(6) Prime contract number; and

L1:(7) A documented description of current, diligent efforts made to secure U.S.-flag

L0:vessels, including points of contact (with names and telephone numbers) with at least

L0:two U.S.-flag carriers contacted. Copies of quotes will suffice for this purpose. Copies of

L0:telephone notes, emails, and other relevant communications will otherwise be

L0:considered for this purpose.

L1:(f) The Contractor shall, within 30 days after each shipment covered by this clause,

L0:provide the Contracting Officer and MARAD at Cargo.Marad@dot.gov, Attention:

L0:Military Team, one copy of the rated on board vessel operating carrier's ocean bill of

L0:lading, which shall contain the following information:

L1:(1) Prime contract number;

L1:(2) Name of vessel;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(3) Vessel flag of registry;

L1:(4) Date of loading;

L1:(5) Port of loading;

L1:(6) Port of final discharge;

L1:(7) Description of commodity;

L1:(8) Gross weight in pounds and cubic feet if available;

L1:(9) Total ocean freight in U.S. dollars; and

L1:(10) Name of the carrier.

L1:(g) If this contract exceeds the simplified acquisition threshold, the Contractor shall

L0:provide with its final invoice under this contract a representation that to the best of its

L0:knowledge and belief?

L1:(1) No ocean transportation was used in the performance of this contract;

L1:(2) Ocean transportation was used and only U.S.-flag vessels were used for all

L0:ocean shipments under the contract;

L1:(3) Ocean transportation was used, and the Contractor had had received a prior-

L0:approved waiver for U.S.-flag vessels for all foreign-flag ocean transportation; or

L1:(4) Ocean transportation was used and some or all of the shipments were made

L0:on foreign-flag vessels without the written consent of the DoD. The Contractor shall

L0:describe these shipments in the following format:

L0:Item description

L0:Contract line items

L0:Quantity

L0:TOTAL

L1:(h) If this contract exceeds the simplified acquisition threshold and the final invoice

L0:does not include the required representation, the Government will reject and return it

L0:to the Contractor as an improper invoice for the purposes of the Prompt Payment clause

L0:of this contract. In the event there has been unauthorized use of foreign-flag vessels in

L0:the performance of this contract, the Contracting Officer is entitled to equitably adjust

L0:the contract, based on the unauthorized use.

L1:(i) If the Contractor did not anticipate transporting any supplies by sea at the time

L0:of contract award and, therefore, did not provide the notification required by paragraph

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(b) of this clause, but prior to shipment of supplies, the Contractor learns that supplies

L0:will be transported by sea, the Contractor shall?

L1:(1) Provide the notification required by paragraph (b) of this clause to the

L0:Contracting Officer and MARAD as soon as it is known that supplies will be
L0:transported by sea; and

L1:(2) Comply with all the terms and conditions of this clause.

L1:(j) Subcontracts. In the award of subcontracts for the types of supplies described in

L0:paragraph (c)(2) of this clause, including subcontracts for commercial products, the

L0:Contractor shall flow down the requirements of this clause as follows:

L1:(1) The Contractor shall insert the substance of this clause, including this

L0:paragraph (j), in subcontracts that exceed the simplified acquisition threshold in part 2

L0:of the Federal Acquisition Regulation.

L1:(2) The Contractor shall insert the substance of paragraphs (a) through (f) of

L0:this clause, and this paragraph (j), in subcontracts that are at or below the simplified

L0:acquisition threshold in part 2 of the Federal Acquisition Regulation.

L0:(End of clause)

L0:Alternate II. As prescribed in 247.574(a) and (a)(3), use the following clause, which

L0:uses a different paragraph (c) than the basic clause:

L0:TRANSPORTATION OF SUPPLIES BY SEA?ALTERNATE II (OCT 2024)

L1:(a) Definitions. As used in this clause?

L0:Foreign-flag vessel means any vessel that is not a U.S.-flag vessel.

L0:Ocean transportation means any water-borne transportation aboard a ship, vessel, boat,

L0:barge, ferry, or the like outside the internal waters of the United States as defined in 33

L0:CFR 2.24.

L0:Subcontractor means a supplier, materialman, distributor, or vendor at any level below

L0:the prime contractor whose contractual obligation to perform results from, or is

L0:conditioned upon, award of the prime contract and who is performing any part of the

L0:work or other requirement of the prime contract.

L0:Supplies means supplies that are clearly identifiable for eventual use by or owned by

L0:DoD at the time of transportation by sea, or are otherwise transported by DoD,

L0:regardless of ownership or use by DoD. An item is clearly identifiable for eventual use

L0:by DoD if, for example, the contract documentation contains a reference to a DoD

L0:contract number or a military destination.

L0:U.S.-flag vessel means either a vessel belonging to the United States or a vessel of the

L0:United States as that term is defined in 46 U.S.C. 116.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(b) If the transportation of supplies by sea is anticipated under this contract, the

L0:Contractor shall?

L1:(1) Notify the Contracting Officer and Maritime Administration (MARAD) at

L0:Cargo.Marad@dot.gov?

L1:(i) Within 3 business days after contract award; or

L1:(ii) Immediately prior to the shipment departure date necessary to meet

L0:delivery schedules, whichever is earlier; and

L1:(2) Include in the notification?

L1:(i) A statement of the Contractor's intent to transport supplies by sea;

L1:(ii) The contract number; and

L1:(iii) The task-order or delivery-order number, when applicable.

L2:(c)(1) The Contractor shall use U.S.-flag vessels when transporting any supplies by
L0:sea under this contract.

L1:(2) A subcontractor transporting supplies by sea under this contract shall use
L0:U.S.-flag vessels if the supplies being transported are?

L1:(i) Other than commercial products; or

L1:(ii) Commercial products that?

L1:(A) The Contractor is reselling or distributing to the Government
L0:without adding value (generally, the Contractor does not add value to items that it
L0:subcontracts for f.o.b. destination shipment);
L0:operations, exercises, or forces deployed in humanitarian or peacekeeping operations; or

L1:(B) Are shipped in direct support of U.S. military contingency

L1:(C) Are commissary or exchange cargoes transported outside of the
L0:Defense Transportation System in accordance with 10 U.S.C. 2643 (Note: This contract
L0:requires transportation of commissary or exchange cargoes outside of the Defense
L0:Transportation System in accordance with 10 U.S.C. 2643).

L1:(d) The Contractor and its subcontractors may request, via the Contracting Officer, a
L0:waiver of the requirement to use a U.S.-flag vessel, or identification of any available
L0:U.S.-flag vessels, if the Contractor or a subcontractor sufficiently explains that?

L1:(1) U.S.-flag vessels are not available at a fair and reasonable rate for
L0:commercial vessels of the United States; or

L1:(2) U.S.-flag vessels are otherwise not available.
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47
L0:Defense FAR Supplement (DFARS) Part 247

L1:(e) The Contractor must submit any request for use of foreign-flag vessels in writing
L0:to the Contracting Officer at least 45 days prior to the sailing date necessary to meet its
L0:delivery schedules. The Contracting Officer will process requests submitted after such
L0:date(s) as expeditiously as possible, however, if a DoD waiver is not approved prior to
L0:the shipper's sailing date, this will not of itself constitute a compensable delay under
L0:this or any other clause of this contract.

L1:(2) Required shipping date(s) and required delivery date(s);

L1:(3) Special handling and discharge requirements;

L1:(4) Loading and discharge points;

L1:(5) Name of shipper and consignee;

L1:(6) Prime contract number; and

L1:(7) A documented description of current, diligent efforts made to secure U.S.-flag
L0:vessels, including points of contact (with names and telephone numbers) with at least
L0:two U.S.-flag carriers contacted. Copies of quotes will suffice for this purpose. Copies of
L0:telephone notes, emails, and other relevant communications will otherwise be
L0:considered for this purpose.

L1:(f) The Contractor shall, within 30 days after each shipment covered by this clause,
L0:provide the Contracting Officer and MARAD at Cargo.Marad@dot.gov, Attention:
L0:Military Team, one copy of the rated on board vessel operating carrier's ocean bill of
L0:lading, which shall contain the following information:

L1:(1) Prime contract number;

L1:(2) Name of vessel;

L1:(3) Vessel flag of registry;

L1:(4) Date of loading;

L1:(5) Port of loading;

L1:(6) Port of final discharge;

L1:(7) Description of commodity;

L1:(8) Gross weight in pounds and cubic feet if available;

L1:(9) Total ocean freight in U.S. dollars; and

L1:(10) Name of steamship company.

L1:(g) If this contract exceeds the simplified acquisition threshold, the Contractor shall

L0:provide with its final invoice under this contract a representation that to the best of its

L0:knowledge and belief?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(1) No ocean transportation was used in the performance of this contract;

L1:(2) Ocean transportation was used and only U.S.-flag vessels were used for all

L0:ocean shipments under the contract;

L1:(3) Ocean transportation was used, and the Contractor had the written consent

L0:of the Contracting Officer for all foreign-flag ocean transportation; or

L1:(4) Ocean transportation was used and some or all of the shipments were made

L0:on foreign-flag vessels without the written consent of the Contracting Officer. The

L0:Contractor shall describe these shipments in the following format:

L0:Item description

L0:Contract line items

L0:Quantity

L0:TOTAL

L1:(h) If this contract exceeds the simplified acquisition threshold and the final invoice

L0:does not include the required representation, the Government will reject and return it

L0:to the Contractor as an improper invoice for the purposes of the Prompt Payment clause

L0:of this contract. In the event there has been unauthorized use of foreign-flag vessels in

L0:the performance of this contract, the Contracting Officer is entitled to equitably adjust

L0:the contract, based on the unauthorized use.

L1:(i) If the Contractor did not anticipate transporting any supplies by sea at the time

L0:of contract award, and, therefore, did not provide the notification required by paragraph

L1:(b) of this clause, but prior to shipment of the supplies, the Contractor learns after the

L0:award of the contract that supplies will be transported by sea, the Contractor shall?

L1:(1) Provide the notification required by paragraph (b) of this clause to the

L0:Contracting Officer and MARAD as soon as it is known that supplies will be

L0:transported by sea; and

L1:(2) Comply with all the terms and conditions of this clause.

L1:(j) Subcontracts. In the award of subcontracts for the types of supplies described in

L0:paragraph (c)(2) of this clause, including subcontracts for commercial products, the

L0:Contractor shall flow down the requirements of this clause as follows:

L1:(1) The Contractor shall insert the substance of this clause, including this

L0:paragraph (j), in subcontracts that exceed the simplified acquisition threshold in part 2

L0:of the Federal Acquisition Regulation.

L1:(2) The Contractor shall insert the substance of paragraphs (a) through (f) of
L0:this clause, and this paragraph (j), in subcontracts that are at or below the simplified
L0:acquisition threshold in part 2 of the Federal Acquisition Regulation.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L0:(End of clause)

252.247-7024 [Reserved]

Status: active

L0:252.247-7024 [Reserved]

252.247-7025 Reflagging or Repair Work

Status: active

L0:252.247-7025 Reflagging or Repair Work.

L0:As prescribed in 247.574(b), use the following clause:

L0:REFLAGGING OR REPAIR WORK (OCT 2024)

L1:(a) Definitions. As used in this clause?

L0:Corrective and preventive maintenance or repair means?

L1:(1) Maintenance or repair actions performed as a result of a failure in order to
L0:return or restore equipment to acceptable performance levels; and

L1:(2) Scheduled maintenance or repair actions to prevent or discover functional
L0:failures.

L0:Reflagging or repair work means work performed on a vessel?

L1:(1) To enable the vessel to meet applicable standards to become a vessel of the
L0:United States; or

L1:(2) To convert the vessel to a more useful military configuration.

L1:(b) Requirement. Unless DoD waives this requirement, the Contractor shall ensure

L0:performance of the following in the United States or its outlying areas:

L1:(1) Reflagging or repair work, if the reflagging or repair work is performed?

L1:(i) On a vessel for which the Contractor submitted an offer in response to the
L0:solicitation for this contract; and

L1:(ii) Prior to acceptance of the vessel by the Government.

L1:(2) Corrective and preventive maintenance or repair work for the duration of the
L0:contract, to the greatest extent practicable.

L0:(End of clause)

252.247-7026 Evaluation Preference for Use of Domestic Shipyards?

Status: active

L0:252.247-7026 Evaluation Preference for Use of Domestic Shipyards?

L0:Applicable to Acquisition of Carriage by Vessel for DoD Cargo in the

L0:Coastwise or Noncontiguous Trade.

L0:As prescribed in 247.574(c), use the following provision:

L0:EVALUATION PREFERENCE FOR USE OF DOMESTIC SHIPYARDS?

L0:APPLICABLE TO ACQUISITION OF CARRIAGE BY VESSEL FOR DOD CARGO IN

L0:THE COASTWISE OR NONCONTIGUOUS TRADE (OCT 2024)

L1:(a) Definitions. As used in this provision?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L0:Covered vessel means a vessel?

L1:(1) Owned, operated, or controlled by the offeror; and

L1:(2) Qualified to engage in the carriage of cargo in the coastwise or noncontiguous

L0:trade under 46 U.S.C. 12112 and 50501 and 46 U.S.C. chapter 551.

L0:Foreign shipyard means a shipyard that is not a U.S. shipyard.

L0:Overhaul, repair, and maintenance work means work requiring a shipyard period

L0:greater than or equal to 5 calendar days.

L0:U.S. shipyard means a shipyard that is located in any State of the United States or in

L0:Guam.

L1:(b) This solicitation includes an evaluation criterion that considers the extent to

L0:which the Offeror has had overhaul, repair, and maintenance work for covered vessels

L0:performed in U.S. shipyards.

L1:(c) The Offeror shall provide the following information with its offer, addressing all

L0:covered vessels for which overhaul, repair, and maintenance work has been performed

L0:during the period covering the current calendar year, up to the date of proposal

L0:submission, and the preceding four calendar years:

L1:(1) Name of vessel.

L1:(2) Description and cost of qualifying shipyard work performed in U.S.

L0:shipyards.

L1:(3) Description and cost of qualifying shipyard work performed in foreign

L0:shipyards and whether?

L1:(i) Such work was performed as emergency repairs in foreign shipyards due

L0:to accident, emergency, Act of God, or an infirmity to the vessel, and safety

L0:considerations warranted taking the vessel to a foreign shipyard; or

L1:(ii) Such work was paid for or reimbursed by the U.S. Government.

L1:(4) Names of shipyards that performed the work.

L1:(5) Inclusive dates of work performed.

L1:(d) Offerors are responsible for submitting accurate information. The Contracting

L0:Officer?

L1:(1) Will use the information to evaluate offers in accordance with the criteria

L0:specified in the solicitation; and

L1:(2) Reserves the right to request supporting documentation if determined

L0:necessary in the proposal evaluation process.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(e) The Department of Defense will provide the information submitted in response to
L0:this provision to the congressional defense committees, as required by section 1017 of
L0:Public Law 109-364 (10 U.S.C. 2631 note).

252.247-7027 Riding Gang Member Requirements

Status: active

L0:252.247-7027 Riding Gang Member Requirements.

L0:As prescribed in 247.574(d), use the following clause:

L0:(End of provision)

L0:RIDING GANG MEMBER REQUIREMENTS (MAY 2018)

L1:(a) Definition. Riding gang member, as used in this clause, has the same definition

L0:as "riding gang member" in title 46 U.S.C. 2101.

L1:(b) Requirements relating to riding gang members. Notwithstanding 46 U.S.C. 8106,

L0:the Contractor shall ensure each riding gang member holds a valid U.S. Merchant

L0:Mariner's Document issued under 46 U.S.C. chapter 73, or a transportation security

L0:card issued under section 70105 of such title.

L1:(c) Exemption. (1) An individual is exempt from the requirements of paragraph (b) of

L0:this clause and shall not be treated as a riding gang member for the purposes of section

L0:8106 of title 46, if that individual is on a vessel for purposes other than engaging in the

L0:operation or maintenance of the vessel and is?

L1:(i) One of the personnel who accompanies, supervises, guards, or maintains

L0:unit equipment aboard a ship, commonly referred to as supercargo personnel;

L1:(ii) One of the force protection personnel of the vessel;

L1:(iii) A specialized repair technician; or

L1:(iv) An individual who is otherwise required by the Secretary of Defense or

L0:designee to be aboard the vessel.

L1:(2) Any individual who is exempt under paragraph (c)(1) of this clause must

L0:pass a DoD background check before going aboard the vessel.

L1:(i) The Contractor shall?

L1:(A) Render all necessary assistance to U.S. Armed Forces personnel

L0:with respect to the identification and screening of exempted individuals. This will

L0:require, at a minimum, the Contractor to submit the name and other biographical

L0:information necessary to the Government official specified in the contract for the

L0:purposes of conducting a background check; and

L1:(B) Deny access or immediately remove any individual(s) from the vessel

L0:deemed unsuitable for any reason by the Government agency conducting the

L0:background checks. The Contractor agrees to replace any such individual promptly and

L0:require such replacements to fully comply with all screening requirements.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L1:(ii) The head of the contracting activity may waive this requirement if the

L0:individual possesses a valid U.S. Merchant Mariner's Document issued under 46 U.S.C.

L0:chapter 73, or a transportation security card issued under section 70105 of such title.

L1:(3) An individual exempted under paragraph (c)(1) of this clause is not treated
L0:as a riding gang member and shall not be counted as an individual in addition to the
L0:crew for the purposes of 46 U.S.C. 3304.
L0:(End of clause)

252.247-7028 Application for U.S. Government Shipping

Status: active

L0:252.247-7028 Application for U.S. Government Shipping
L0:Documentation/Instructions.

L0:As prescribed in 247.207, use the following clause:

L0:APPLICATION FOR U.S. GOVERNMENT SHIPPING

L0:DOCUMENTATION/INSTRUCTIONS (JUN 2012)

L1:(a) Except as provided in paragraph (b) of this clause, the Contractor shall request
L0:bills of lading by submitting a DD Form 1659, Application for U.S. Government
L0:Shipping Documentation/Instructions, to the?
L1:(1) Transportation Officer, if named in the contract schedule; or
L1:(2) Contract administration office.
L1:(b) If an automated system is available for shipment requests, use service/agency
L0:systems (e.g., Navy's Global Freight Management-Electronic Transportation
L0:Acquisition (GFM-ETA) and Financial Air Clearance Transportation System (FACTS)
L0:Shipment Processing Module, Air Force's Cargo Movement Operations System, DCMA's
L0:Shipment Instruction Request (SIR) E-tool, and DLA's Distribution Standard System
L0:Vendor Shipment Module in lieu of DD Form 1659.
L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L0:PGI PART 247?TRANSPORTATION

L0:PGI 247.2?CONTRACTS FOR TRANSPORTATION OR FOR TRANSPORTATION-

L0:RELATED SERVICES

L0:PGI 247.200 Scope of subpart.
L0:For general cargo provisions, see DTR 4500.9-R, Defense Transportation Regulation
L1:(DTR), Part II, Chapter 201, paragraphs L, M, N, and S (available at
L0:https://www.ustranscom.mil/dtr/part-ii/dtr_part_ii_201.pdf).
L0:PGI 247.270-2 Technical provisions.
L1:(a) Because conditions vary at different ports, and sometimes within the same port,
L0:developing standard technical provisions covering all phases of stevedoring operations
L0:might be impracticable.
L1:(b) When including rail car, truck, or intermodal equipment loading and unloading, or
L0:other dock and terminal work under a stevedoring contract, include these requirements as
L0:separate items of work.
L0:PGI 247.271-2 Procedures.
L1:(a) Contiguous United States military activities assigned multi-service personal
L0:property areas of responsibility.

L1:(1) When two or more military installations or activities have personal property
L0:responsibilities in a given area, one activity must contract for the estimated requirements of
L0:all activities in the area. The installation commanders concerned must designate the activity
L0:by mutual agreement.

L1:(2) The Commander, United States Army Transportation Command (ARTRANS),
L0:must designate the contracting activity when local commanders are unable to reach
L0:agreement.

L1:(b) Additional services and excess requirements.

L1:(1) When requiring activities need additional services that exceed
L0:contractor capabilities available under contracts, contracting officers should use
L0:simplified acquisition procedures to satisfy those excess requirements.

L1:(2) Additional services are those not specified in the bid items.

L1:(i) Additional services may include?

L1:(A) Hoisting or lowering of articles;
L1:(B) Waiting time;
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47
L0:Defense FAR Supplement (DFARS) Part 247
L1:(C) Special packaging; and
L1:(D) Stuffing or unstuffing of sea van containers.

L1:(ii) Contracting officers should consider contracting for local moves that do not
L0:require drayage by using hourly rate or constructive weight methods. The rate will include
L0:those services necessary for completion of the movement, including?

L1:(A) Packing and unpacking;
L1:(B) Movement;
L1:(C) Inventorying; and
L1:(D) Removal of debris.

L1:(iii) Each personal property shipping activity must determine if
L0:local requirements exist for any additional services.

L1:(iv) The contracting officer may obtain additional services by?
L0:in the evaluation of bids (see DFARS 252.247-7008, Evaluation of Bids); or
L1:(A) Including them as items within the contract, provided they are not used
L1:(B) Using simplified acquisition procedures.

L1:(v) Either predetermine prices for additional services with the contractor, or
L0:negotiate them on a case-by-case basis.

L1:(vi) The contracting officer must authorize the contractor to perform any
L0:additional services, other than attempted pick up or delivery, regardless of the contracting
L0:method.

L1:(vii) To the maximum extent possible, identify additional services required that
L0:are incidental to an order before placing the order, or, when applicable, during the pre-move
L0:survey.

L1:(c) Contract distribution.

L1:(1) Contiguous United States personal property shipping activities must send the
L0:copy to the Commander, United States Army Transportation Command (ARTRANS), ATTN:
L0:AMSSD-PP, 709 Ward Drive, Scott AFB IL 62225.

L1:(2) In the European and Pacific areas, personal property shipping activities must

L0:send the copy to either the Property Directorate, ARTRANS Europe, or the Field Office-
L0:Pacific.

L1:(3) Other overseas personal property shipping activities must send the copy to the
L0:Commander, Military Surface Deployment and Distribution Command, ATTN: AMSSD-PP,
L0:709 Ward Drive, Scott AFB IL 62225.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47
L0:Defense FAR Supplement (DFARS) Part 247

L1:(d) When preparing solicitations for personal property for shipment or storage, and intra-
L0:area or intra-city movement, contracting officers should follow the procedures
L0:in DTR 4500.9-R, Part IV, Chapter 404 at https://www.ustranscom.mil/dtr/part-iv/dtr_part_iv_404.pdf, and Appendix G at https://www.ustranscom.mil/dtr/part-iv/dtr_part_iv_app_g.pdf.

L0:PGI 247.271-3 Solicitation provisions, schedule formats, and contract clauses.

L1:(c) DTR 4500.9-R, Defense Transportation Regulation, Part IV, Attachment A-G3
L0:(available at https://www.ustranscom.mil/dtr/part-iv/dtr_part_iv_att_A-g3.pdf), contains
L0:guidance on schedules as follows:

L0:Schedule I Outbound Services, Pages 6-12.

L0:Schedule II Inbound Services, Pages 13-17.

L0:Schedule III Intra-City and Intra-Area Moves, Page 18.

L1:(1) Demurrage and detention charges.

L1:(i) Carrier demurrage/detention is a charge made against a consignor (shipper)
L0:or consignee (receiver) for the extended use of carrier-furnished equipment when delays
L0:attributable to the consignor or consignee occur. Carrier demurrage/detention rules usually
L0:allow a period of free time for loading, unloading, or holding equipment.

L1:(ii) Carrier-published demurrage/detention rules and charges are not uniform
L0:from one carrier to another. Contracting officers should specifically address them in the
L0:contract. While demurrage/detention rules are published in individual carrier tariffs or
L0:agency tenders, Contracting Officers may negotiate contract-specific demurrage/detention
L0:rules and charges independent of any existing tariffs or tenders.

L1:(6) Process any modification of schedule format, other than those authorized in
L0:paragraph (c) of this subsection, as a request for deviation to the Commander, ARTRANS.

L0:PGI 247.3?TRANSPORTATION IN SUPPLY CONTRACTS

L0:PGI 247.301 General.

L0:Transportation guidance relating to Governmentwide commercial purchase card purchases
L0:is available in the Department of Defense Government Charge Card Guidebook for
L0:Establishing and Managing Purchase, Travel, and Fuel Card Programs, Appendix C, at
L0:<https://www.acq.osd.mil/asda/dpc/ce/pc/docs-guides.html>.

L0:PGI 247.305 Solicitation provisions, contract clauses, and transportation factors.

L0:PGI 247.305-10 Packing, marking, and consignment instructions.

L0:Follow the procedures in DTR 4500.9-R, Defense Transportation Regulation, Part II,
L0:Chapter 208 https://www.ustranscom.mil/dtr/part-ii/dtr_part_ii_208.pdf. Additional
L0:guidance for marking can be found at MIL-STD-129P and AR 700-15. Consignment

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 47

L0:Defense FAR Supplement (DFARS) Part 247

L0:locations can be found in the Transportation Facilities Guide (TFG) on the ARTRANS

L0:website at <https://eta-teams.transport.mil>. Access to this site requires an Electronic

L0:Transportation Account.

L0:PGI 247.370 DD Form 1384, Transportation Control and Movement.

L1:(a) The transportation office of the shipping activity prepares the DD Form 1384 to

L0:accompany all shipments made through a military air or water port, in accordance with DoD

L0:4500.9-R, Defense Transportation Regulation, Part II, Chapter 203.

L1:(b) DTR 4500.9-R, Defense Transportation Regulation, Part II, Chapter 203 is available

L0:at https://www.ustranscom.mil/dtr/part-ii/dtr_part_ii_203.pdf.

L0:PGI 247.371 DD Form 1653, Transportation Data for Solicitations.

L0:The transportation specialist prepares the DD Form 1653 to accompany requirements for

L0:the acquisition of supplies. The completed form should contain recommendations for

L0:suitable f.o.b. terms and other suggested transportation provisions for inclusion in the

L0:solicitation.

PART 49

SUBPART 249.70 ? SPECIAL TERMINATION REQUIREMENTS

Status: active

L0:SUBPART 249.70?SPECIAL TERMINATION REQUIREMENTS

249.105 Duties of termination contracting officer after issuance of notice of

Status: active

L0:249.105 Duties of termination contracting officer after issuance of notice of
L0:termination.

249.105-1 Release of excess funds

Status: active

L0:249.105-1 Release of excess funds.
L0:See PGI 249.105-1 for recommending the release of excess funds.

249.105-70 Termination status reports

Status: active

L0:249.105-70 Termination status reports.
L0:Follow the procedures at PGI 249.105-70 for reporting status of termination actions.

249.109 Settlement agreements

Status: active

L0:249.109 Settlement agreements.

249.109-7 Settlement by determination

Status: active

L0:249.109-7 Settlement by determination.
L0:Follow the procedures at PGI 249.109-7 for settlement by determination.

249.109-70 Limitation on pricing of the terminated effort

Status: active

L0:249.109-70 Limitation on pricing of the terminated effort.
L0:When there is a termination for convenience (partial or whole) or a change that reduces

L0:scope, follow the procedures at PGI 249.109-70 for limitation on pricing of the
L0:terminated or reduced effort.

249.110 Settlement negotiation memorandum

Status: active

L0:249.110 Settlement negotiation memorandum.
L0:Follow the procedures at PGI 249.110 for preparation of a settlement negotiation
L0:memorandum.

249.501 General

Status: active

L0:249.501 General.

249.501-70 Special termination costs

Status: active

L0:249.501-70 Special termination costs.
L1:(a) The clause at 252.249-7000, Special Termination Costs, may be used in an
L0:incrementally funded contract when its use is approved by the agency head.
L1:(b) The clause is authorized when?
L1:(1) The contract term is two years or more;
L1:(2) The contract is estimated to require?
L1:(i) Total RDT&E financing in excess of \$25 million; or
L1:(ii) Total production investment in excess of \$100 million; and
L1:(3) Adequate funds are available to cover the contingent reserve liability for
L0:special termination costs.
L1:(c) The contractor and the contracting officer must agree upon an amount that
L0:represents their best estimate of the total special termination costs to which the
L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49
L0:Defense FAR Supplement (DFARS) Part 249
L0:contractor would be entitled in the event of termination of the contract. Insert this
L0:amount in paragraph (c) of the clause.
L2:(d)(1) Consider substituting an alternate paragraph (c) for paragraph (c) of the basic
L0:clause when?
L1:(i) The contract covers an unusually long performance period; or
L1:(ii) The contractor's cost risk associated with contingent special termination
L0:costs is expected to fluctuate extensively over the period of the contract.
L1:(2) The alternate paragraph (c) should provide for periodic negotiation and
L0:adjustment of the amount reserved for special termination costs. Occasions for periodic
L0:adjustment may include?
L1:(i) The Government's incremental assignment of funds to the contract;

L1:(ii) The time when certain performance milestones are accomplished by the
 L0:contractor; or
 L1:(iii) Other specific time periods agreed upon by the contracting officer and
 L0:the contractor.

249.7000 Terminated contracts with Canadian Commercial Corporation

Status: active

L0:249.7000 Terminated contracts with Canadian Commercial Corporation.
 L1:(a) General. Terminate contracts with the Canadian Commercial Corporation in
 L0:accordance with?
 L1:(1) The Letter of Agreement (LOA) between the Department of Defence
 L0:Production (Canada) and the U.S. DoD, ?Canadian Agreement? (for a copy of the LOA
 L0:or for questions on its currency, contact the Office of the Principal Director, Defense
 L0:Pricing, Contracting, and Acquisition Policy (Contract Policy), at osd.pentagon.ousd-a-
 L0:s.mbx.asda-dp-c-contractpolicy@mail.mil;
 L1:(2) Policies in the Canadian Agreement and Part 249; and
 L1:(3) The Canadian Supply Manual, Chapter 8, Annex 8.3, available at
 L0:<http://www.tpsgc-pwgsc.gc.ca/app-acq/ga-sm/index-eng.html>, ?Termination for
 L0:convenience process.?
 L1:(b) Settlement proposals. Ensure that the Canadian Commercial Corporation
 L0:submits?
 L1:(1) Termination settlement proposals that?
 L1:(i) Are in the format prescribed in FAR 49.602; and
 L1:(ii) Contain the amount of settlements with subcontractors; and
 L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49
 L0:Defense FAR Supplement (DFARS) Part 249
 L1:(2) A letter transmitting the termination settlement proposal which certifies
 L0:that?
 L1:(i) Disposition of inventory has been completed; and
 L1:(ii) The Contract Claims Resolution Board of the Public Works and
 L0:Government Services Canada has approved settlements with Canadian subcontractors
 L0:when the Procedures Manual on Termination of Contracts requires such approval.
 L1:(c) Settlement agreements. The termination contracting officer (TCO) must prepare
 L0:an appropriate settlement agreement. (See FAR 49.603.)
 L1:(1) After screening, the TCO must provide guidance to the Canadian
 L0:Commercial Corporation for disposition of the contractor inventory.
 L1:(2) Settlement of Canadian subcontractor claims are not subject to the approval
 L0:and ratification of the TCO. However, when the proposed negotiated settlement
 L0:exceeds the total contract price of the prime contract, the TCO must obtain from the
 L0:U.S. contracting officer prior to final settlement?
 L1:(i) Ratification of the proposed settlement; and
 L1:(ii) A contract modification increasing the contract price and obligating the
 L0:additional funds.

L1:(3) The TCO must inform the Canadian Commercial Corporation of the amount
L0:of the net settlement of U.S. subcontractors and suppliers so that this amount can be
L0:included in the Canadian Commercial Corporation termination proposal. The
L0:Canadian Commercial Corporation is responsible for execution of the settlement
L0:agreement with these subcontractors.

L1:(d) Contract administration support. Provide any contract administration services
L0:required by the Canadian Commercial Corporation, including disposal of inventory, for
L0:settlement of any subcontracts placed in the United States.

L1:(e) Other responsibilities. See PGI 249.7000 for information on other responsibilities
L0:associated with terminating contracts with the Canadian Commercial Corporation.

249.7001 Congressional notification on significant contract terminations

Status: active

L0:249.7001 Congressional notification on significant contract terminations.

L0:Congressional notification is required for any termination involving a reduction in
L0:employment of 100 or more contractor employees. The contracting officer must?

L1:(a) Clear proposed terminations through department/agency liaison offices before
L0:release of the termination notice, or any information on the proposed termination, to the
L0:contractor.

L1:(b) Follow the procedures at PGI 249.7001 for congressional notification and release
L0:of information.

249.7002 Reserved

Status: active

L0:249.7002 Reserved.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49

L0:Defense FAR Supplement (DFARS) Part 249

249.7003 Notification of anticipated contract terminations or reductions

Status: active

L0:249.7003 Notification of anticipated contract terminations or reductions.

L1:(a) Section 1372 of the National Defense Authorization Act for Fiscal Year 1994
L0:(Pub. L. 103-160) and section 824 of the National Defense Authorization Act for Fiscal
L0:Year 1997 (Pub. L. 104-201) are intended to help establish benefit eligibility under the
L0:Workforce Innovation and Opportunity Act (29 U.S.C. Chapter 32) for employees of
L0:DoD contractors and subcontractors adversely affected by termination or substantial
L0:reductions in major defense programs.

L1:(b) Departments and agencies are responsible for establishing procedures to?

L1:(1) Identify which contracts (if any) under major defense programs will be
L0:terminated or substantially reduced as a result of the funding levels provided in an

L0:appropriations act; and

L1:(2) Within 60 days of the enactment of such an act, provide notice of the

L0:anticipated termination of or substantial reduction in the funding of affected

L0:contracts?

L1:(i) Directly to the Secretary of Labor; and

L1:(ii) Through the contracting officer to each prime contractor.

L1:(c) When subcontracts have been issued, the prime contractor is responsible for?

L1:(1) Providing notice of the termination or substantial reduction in funding to all

L0:first-tier subcontractors with a subcontract valued equal to or greater than \$700,000;

L0:and

L1:(2) Requiring that each subcontractor?

L1:(i) Provide such notice to each of its subcontractors for subcontracts valued

L0:greater than \$150,000; and

L1:(ii) Impose a similar notice and flowdown requirement in subcontracts

L0:valued greater than \$150,000 at all tiers.

249.7004 Contract clause

Status: active

L0:249.7004 Contract clause.

L0:Insert the clause at 252.249-7002, Notification of Anticipated Contract Termination or

L0:Reduction, in all contracts under a major defense program.

252.249-7000 Special Termination Costs

Status: active

L0:252.249-7000 Special Termination Costs.

L0:As prescribed in 249.501-70, insert the following clause:

L0:SPECIAL TERMINATION COSTS (DEC 1991)

L1:(a) Definition. ?Special termination costs,? as used in this clause, means only costs

L0:in the following categories as defined in Part 31 of the Federal Acquisition Regulation

L1:(FAR)?

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49

L0:Defense FAR Supplement (DFARS) Part 249

L1:(1) Severance pay, as provided in FAR 31.205-6(g);

L1:(2) Reasonable costs continuing after termination, as provided in FAR 31.205-

L0:42(b);

L1:(3) Settlement of expenses, as provided in FAR 31.205-42(g);

L1:(4) Costs of return of field service personnel from sites, as provided in FAR

31.205-35 and FAR 31.205-46(c); and

Status: active

L0:31.205-35 and FAR 31.205-46(c); and

L1:(5) Costs in paragraphs (a)(1), (2), (3), and (4) of this clause to which

L0:subcontractors may be entitled in the event of termination.

L1:(b) Notwithstanding the Limitation of Cost/Limitation of Funds clause of this

L0:contract, the Contractor shall not include in its estimate of costs incurred or to be

L0:incurred, any amount for special termination costs to which the Contractor may be

L0:entitled in the event this contract is terminated for the convenience of the Government.

L1:(c) The Contractor agrees to perform this contract in such a manner that the

L0:Contractor's claim for special termination costs will not exceed \$_____. The

L0:Government shall have no obligation to pay the Contractor any amount for the special

L0:termination costs in excess of this amount.

L1:(d) In the event of termination for the convenience of the Government, this clause

L0:shall not be construed as affecting the allowability of special termination costs in any

L0:manner other than limiting the maximum amount of the costs payable by the

L0:Government.

L1:(e) This clause shall remain in full force and effect until this contract is fully funded.

252.249-7001 Reserved

Status: active

L0:252.249-7001 Reserved.

L0:(End of clause)

252.249-7002 Notification of Anticipated Contract Termination or Reduction

Status: active

L0:252.249-7002 Notification of Anticipated Contract Termination or Reduction.

L0:As prescribed in 249.7004, use the following clause:

L0:NOTIFICATION OF ANTICIPATED CONTRACT TERMINATION OR REDUCTION

L0:(DEC 2022)

L1:(a) Definitions. As use in this clause?

L0:Major defense program? means a program that is carried out to produce or

L0:acquire a major system (as defined in 10 U.S.C. 3041(a)).

L1:(b) Scope. This clause implements section 1372 of the National Defense

L0:Authorization Act for Fiscal Year 1994 (Pub. L. 103-160) and section 824 of the National

L0:Defense Authorization Act for Fiscal Year 1997 (Pub. L. 104-201), which are intended to

L0:help establish benefit eligibility under the Workforce Innovation and Opportunity Act

L0:(29 U.S.C. Chapter 32) for employees of DoD contractors and subcontractors adversely

L0:affected by contract terminations or substantial reductions under major defense

L0:programs.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49

L0:Defense FAR Supplement (DFARS) Part 249

L1:(c) Notice to employees and state and local officials.

L1:(1) Within 2 weeks after the Contracting Officer notifies the Contractor that

L0:contract funding will be terminated or substantially reduced, the Contractor shall

L0:provide notice of such anticipated termination or reduction to?

L1:(i) Each employee representative of the Contractor's employees whose work

L0:is directly related to the defense contract; or

L1:(ii) If there is no such representative, each such employee;

L1:(iii) The State or entity designated by the State to carry out rapid response

L0:activities described in the Workforce Innovation and Opportunity Act (29 U.S.C.

L0:3174(a)(2)(A)(i)); and

L1:(iv) The chief elected official of the unit of general local government within

L0:which the adverse effect may occur.

L1:(2) The notice provided an employee under paragraph (c)(1) of this clause shall

L0:have the same effect as a notice of termination to the employee for the purposes of

L0:determining whether such employee is eligible for training, adjustment assistance, and

L0:employment services under the Workforce Innovation and Opportunity Act (29 U.S.C.

L0:Chapter 32).

L1:(d) Notice to subcontractors. Not later than 60 days after the Contractor receives

L0:the Contracting Officer's notice of the anticipated termination or reduction, the

L0:Contractor shall?

L1:(1) Provide notice of the anticipated termination or reduction to each first-tier

L0:subcontractor with a subcontract that equals or exceeds the threshold specified in

L0:Defense Federal Acquisition Regulation Supplement (DFARS) 249.7003(c)(1) at the

L0:time of the notice; and

L1:(2) Require that each such subcontractor?

L1:(i) Provide notice to each of its subcontractors with a subcontract that

L0:equals or exceeds the threshold specified in DFARS 249.7003(c)(2)(i) at the time of the

L0:notice; and

L1:(ii) Impose a similar notice and flowdown requirement to subcontractors

L0:with subcontracts that equal or exceed the threshold specified in DFARS

L0:249.7003(c)(2)(ii) at the time of the notice.

L0:(End of clause)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49

L0:Defense FAR Supplement (DFARS) Part 249

L0:PGI 249?TERMINATION OF CONTRACTS

L0:PGI 249.1?GENERAL PRINCIPLES

L0:PGI 249.105 Duties of termination contracting officer after issuance of notice of

L0:termination.

L0:PGI 249.105-1 Release of excess funds.

L0:The DD Form 1598, Contract Termination Status Report, may be used to recommend the

L0:release of excess funds. Include the accounting classification reference numbers, funds

L0:citations, and allocated amounts in any recommendation for release of excess funds.

L0:PGI 249.105-70 Termination status reports.

L0:When the contract administration office receives a termination notice, it will?

L1:(1) Prepare a DD Form 1598, Contract Termination Status Report;

L1:(2) Within 30 days, send one copy to the purchasing office and one copy to the L0:headquarters office to which the contract administration office is directly responsible;

L1:(3) Continue reporting semiannually to cover the six-month periods ending March and L0:September. Submit the semiannual reports within 30 days after the end of the reporting L0:period; and

L1:(4) Submit a final report within 30 days after closing the termination case.

L0:PGI 249.109 Settlement agreements.

L0:PGI 249.109-7 Settlement by determination.

L1:(1) Use a Standard Form 30 (SF 30), Amendment of Solicitation/Modification of L0:Contract, to settle a convenience termination by determination?

L1:(i) When the contractor has lost its right of appeal because it failed to submit a L0:timely settlement proposal; and

L1:(ii) To confirm the determination when the contractor does not appeal the L0:termination contracting officer's decision.

L1:(2) The effective date of the SF 30 must be the same as the date of the letter of L0:determination. Do not assign a supplementary procurement instrument identification L0:number to the letter of determination. Send a copy of the SF 30 to the contractor by certified L0:mail return receipt requested.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49

L0:Defense FAR Supplement (DFARS) Part 249

L0:PGI 249.109-70 Limitation on pricing of the terminated effort.

L0:When there is a termination for convenience (partial or whole) or a change that reduces L0:scope, the price of the terminated or reduced effort that the contractor is required to credit L0:back to the Government must not be more than the original amount placed on contract for L0:that effort.

L0:PGI 249.110 Settlement negotiation memorandum.

L1:(1) Fixed-price contracts. Use the format in Table 49-1, Settlement Memorandum Fixed- L0:Price Contracts, for the termination contracting officer's settlement memorandum for fixed- L0:price contracts terminated for the convenience of the Government. Encourage contractors L0:and subcontractors to use this format, appropriately modified, for subcontract settlements L0:submitted for review and approval.

L1:(2) Cost-reimbursement contracts. Use Part I of the format in Table 49-1 and Part II of L0:the format in Table 49-2, Settlement Memorandum for Cost-Reimbursement Contracts, for L0:the termination contracting officer's settlement memorandum for cost-reimbursement L0:contracts:

L0:TABLE 49-1, SETTLEMENT MEMORANDUM FIXED-PRICE CONTRACTS

L0:1. Identification. (Identify memorandum as to its purpose and content.)

L0:PART I--GENERAL INFORMATION

L0:a. Name and address of the contractor. Comment on any pertinent affiliation between L0:prime and subcontractors relative to the overall settlement.

L0:b. Names and titles of both contractor and Government personnel who participated in L0:the negotiation.

L0:2. Description of terminated contract.

L0:a. Date of contract and contract number.

L0:b. Type of contract (e.g., fixed-price, fixed-price incentive).

L0:c. General description of contract items.

L0:d. Total contract price.

L0:e. Furnish reference to the contract termination clauses (cite FAR/DFARS designation or

L0:other special provisions).

L0:3. Termination notice.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49

L0:Defense FAR Supplement (DFARS) Part 249

L0:a. Reference termination notice and state effective date of termination.

L0:b. Scope and nature of termination (complete or partial), items terminated, and unit price

L0:and total price of items terminated.

L0:c. State whether termination notice was amended, and explain any amendment.

L0:d. State whether contractor stopped work on effective termination date. If not, furnish

L0:details.

L0:e. State whether the contractor promptly terminated subcontracts.

L0:f. Statement as to the diversion of common items and return of goods to suppliers, if

L0:any.

L0:g. Furnish information as to contract performance and timeliness of deliveries by the

L0:contractor.

L0:4. Contractor's settlement proposal.

L0:a. Date and amount. Indicate date and location where claim was filed. State gross

L0:amount of claim. (If interim settlement proposals were filed, furnished information for each

L0:claim.)

L0:b. Basis of claim. State whether claim was filed on inventory, total cost, or other basis.

L0:Explain rationale for approval when claim is filed on other than inventory basis.

L0:c. Examination of proposal. State type of reviews made and by whom (audit,

L0:engineering, legal, or other).

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49

L0:Defense FAR Supplement (DFARS) Part 249

L0:PART II--SUMMARY OF CONTRACTOR'S CLAIM AND NEGOTIATED SETTLEMENT

L0:Prepare a summary substantially as follows:

L0:Item

L0:Claimed

L0:Contractor's

L0:Proposal

L0:Dollars

L0:Accepted

L0:Costs

L0:Questioned

L0:Unresolved

L0:Items

L0:TCO

L0:Negotiated

L0:Amount

L0:1. Contractor's costs

L0:as set forth on

L0:settlement proposal.

L0:Metals, raw materials,

L0:etc.

L0:Total

L0:2. Profit

L0:3. Settlement

L0:expenses

L0:4. Total

L0:5. Settlement with

L0:subs

L0:6. Acceptable finished

L0:product

L0:7. Gross Total

L0:8. Disposal and other

L0:credits

L0:9. Net settlement

L0:10. Partial progress &

L0:advance payments

L0:11. Net payments

L0:requested

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49

L0:Defense FAR Supplement (DFARS) Part 249

L0:PART III--DISCUSSION OF SETTLEMENT

L0:1. Contractor's cost.

L0:a. If the settlement was negotiated on the basis of individual items, specify the factors

L0:and consideration for each item.

L0:b. In the case of a lump-sum settlement, comment on the general basis for and major

L0:factors concerning each element of cost and profit included.

L0:c. Comment on any important adjustments made to costs claimed or any significant

L0:amounts in relation to the total claim.

L0:d. If a partial termination is involved, state whether the contractor has requested an

L0:equitable adjustment in the price of the continued portion of the contract.

L0:e. Comment on any unadjusted contractual changes that are included in the settlement.

L0:f. Comment on whether or not a loss would have been incurred and explain adjustment

L0:for loss, if any.

L0:g. Furnish other information believed helpful to any reviewing authority in understanding

L0:the recommended settlement.

L0:2. Profit. Explain the basis and factors considered in arriving at a fair profit.

L0:3. Settlement expenses. Comment on and summarize those expenses not included in the

L0:audit review.

L0:4. Subcontractor's settlements. Include the number of no-cost settlements, settlements

L0:concluded by the contractor under delegation of authority and those approved by the

L0:termination contracting officer, as well as the net amount of each.

L0:5. Partial payments. Furnish the total amount of partial payments, if any.

L0:6. Progress or advance payments. Furnish the total of unliquidated amounts, if any.

L0:7. Claims of the Government against the contractor included in settlement agreement

L0:reservations. List all outstanding claims, if any, that the Government has against the

L0:contractor in connection with the terminated contract or terminated portion of the contract.

L0:8. Assignments. List any assignments, giving name and address of assignee.

L0:9. Disposal credits. Furnish information as to applicable disposal credits and give dollar

L0:amounts of all disposal credits.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49

L0:Defense FAR Supplement (DFARS) Part 249

L0:10. Plant clearance. State whether plant clearance action has been completed and all

L0:inventory sold, retained, or otherwise properly disposed of in accordance with applicable

L0:plant clearance regulations. Comment on any unusual matters pertaining to plant

L0:clearances. Attach consolidated closing plant clearance report.

L0:11. Government property. State whether all Government property has been accounted for.

L0:12. Special tooling. If involved, furnish comment on disposition.

L0:13. Summary of settlement. Summarize the settlement in tabular form substantially as

L0:follows:

L0:TABULAR SUMMARY FOR COMPLETE OR PARTIAL TERMINATION

L0:Amount

L0:Claimed

L0:Amount

L0:Allowed

L0:Prime contractors charges (before disposal credits)

L0:Plus: Subcontractor charges (after disposal credits)

L0:Gross settlement:

L0:Less: disposal credits--Prime

L0:Net settlement--Less:

L0:Prior payment credits (this settlement)

L0:Previous partial settlements

L0:Other credits or deductions

L0:Net payment:

L0:Total contract price (complete termination)

L0:Contract Price of Items Terminated (for partial

L0:termination)--Less:

L0:Total payments to date

L0:Net payment from this settlement

L0:Fund reserved for reservations

L0:Reduction in contract price

L0:14. Exclusions. Describe any proposed reservation of rights to the Government or to the

L0:contractor.

L0:15. Include a statement that the settlement is fair and reasonable for the Government and

L0:the contractor. The contracting officer must sign and date the memorandum.

L0:(End of memorandum)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49

L0:Defense FAR Supplement (DFARS) Part 249

L0:TABLE 49-2, SETTLEMENT MEMORANDUM FOR COST-REIMBURSEMENT

L0:CONTRACTS

L0:PART II--SUMMARY OF SETTLEMENT

L0:1. Summary. Summarize the proposed settlement in tabular form substantially as shown in L0:Tables 49-3 and 49-4. Partial settlements may be summarized on Table 49-4.

L0:2. Comments. Explain tabular summaries.

L0:a. Summary of final settlement (see Table 49-3).

L1:(1) Explain why the auditor's final report was not available for consideration, if L0:applicable.

L1:(2) Explain how the fixed-fee was adjusted. Identify basis used, such as L0:percentage of completion. Include a description of factors considered and how they were L0:considered. Include any tabular summaries and breakdowns deemed helpful to an L0:understanding of the process. Factors that may be given consideration are outlined in FAR

L0:49.305.

L1:(3) Briefly identify matters included in liability for property and other charges against L0:the contractor arising from the contract.

L1:(4) Identify reservations included in the settlement that are other than standard L0:reservations required by regulations and that are concerned with pending claims and L0:refunds.

L1:(5) Explain substantial or otherwise important adjustments made in cost figures L0:submitted by the contractor in arriving at the proposed settlement.

L1:(6) If unreimbursed costs were settled on a lump sum basis, explain the general L0:basis for and the major factors considered in arriving at this settlement.

L1:(7) Comment on any unusual items of cost included in the claim and on any phase L0:of cost allocation requiring particular attention and not covered above.

L1:(8) If the auditor's recommendations for nonacceptance were not followed, explain L0:briefly the main reasons why such recommendations were not followed.

L1:(9) On items recommended for further consideration by the auditor, explain, in L0:general, the basis for the action taken.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49

L0:Defense FAR Supplement (DFARS) Part 249

L1:(10) If any cost previously disallowed by a contracting officer is included in the L0:proposed settlement, identify and explain the reason for inclusion of such costs.

L1:(11) Show number and amounts of settlements with subcontractors.

L1:(12) Use the following summary where settlement includes costs and fixed-fee in a L0:complete termination:

L0:Gross settlement

L0:Less: Disposal credits

L0:Net settlement

L0:Less: Prior payments

L0:Other credits or deductions

L0:Total

L0:Net payment

L0:Total contract estimated cost plus fixed fee

L0:Less: Net settlement

L0:Estimated reserve for exclusions

L0:Final contract price

L0:(Consisting of \$_____ for reimbursement of

L0:costs and \$_____ for adjusted fixed fee)

L0:Reduction in contract price (credit)

L0:\$_____

L0:_____

L0:_____

L0:_____

L0:\$_____

L0:_____

L0:_____

L0:_____

L0:_____

L0:_____

L0:_____

L0:_____

L0:_____

L1:(13) Plant clearance. Indicate dollar value of termination inventory and state

L0:whether plant clearance has been completed. Attach consolidated plant clearance report

L0:(SF 1424, Inventory Disposal Report).

L1:(14) Government property. State whether all Government property has been

L0:accounted for.

L1:(15) Include a statement that the settlement is fair and reasonable to the

L0:Government and the contractor. The contracting officer must sign and date the

L0:memorandum.

L0:(End of memorandum)

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49

L0:Defense FAR Supplement (DFARS) Part 249

L0:TABLE 49-3, SUMMARY OF SETTLEMENT

L0:AMOUNT

L0:CLAIMED

L0:AMOUNT

L0:ALLOWED

L0:1. Previous reimbursed costs--Prime and Subs

L0:2. Previous unreimbursed costs

L0:3. Total cost settlement

L0:4. Previous fees paid--Prime

L0:5. Previous fees unpaid--Prime

L0:6. Total fee settlement

L0:7. Gross settlement

L0:\$

L0:\$

L0:\$

L0:\$

L0: _____

L0:\$

L0:\$

L0: _____

L0:\$

L0: _____

L0:\$ _____ **\$** _____

L0: _____

L0:\$

L0:Less: Deductions not reflected in Items 1-7

L0:a. Disposal credits

L0:b. Other charges against contractor

L0:arising from contract

L0:\$ _____

L0:\$ _____

L0:8. Net settlement

L0:Less: Prior payment credits

L0:9. Net payment

L0:10. Recapitulation of previous settlements (insert

L0:number of previous partial settlements effected on

L0:account of this particular termination):

L0:Aggregate gross amount of previous settlements

L0:Aggregate net amount of previous partial settlements

L0:Aggregate net payment provided in previous partial settlements

L0:Aggregate amount allowed for prime contractor acquired property

L0:taken over by the Government in connection with previous

L0:partial settlements

L0:\$

L0: _____

L0:\$

L0:\$ _____

L0:\$ _____

L0:\$ _____

L0:\$ _____

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49

L0:Defense FAR Supplement (DFARS) Part 249

L0:TABLE 49-4, UNREIMBURSED COSTS SUBMITTED ON SF 1437*

L0:Amounts

L0:Claimed by

L0:Contractor's

L0:Proposal

L0:Auditor's

L0:Recommendation

L0:Cost

L0:Questioned

L0:Unresolved

L0:Items

L0:TCO's

L0:Computation

L0:Costs

L0:1. Direct material

L0:2. Direct labor

L0:3. Indirect factory expense

L0:4. Dies, jigs, fixtures and

L0:special tools

L0:5. Other costs

L0:6. General and administrative

L0:expenses

L0:7. Fee

L0:8. Settlement expense

L0:9. Settlement with subs

L0:10. Total costs (Items 1-9)

L0:*Expand the format to include recommendations of technical personnel as required.

L0:PGI 249.70? SPECIAL TERMINATION REQUIREMENTS

L0:PGI 249.7000 Terminated contracts with Canadian Commercial Corporation.

L1:(e) Other responsibilities. Understand the responsibilities of the Canadian Commercial

L0:Corporation associated with terminating contracts, including?

L1:(1) Settling all Canadian subcontractor termination claims under the Canadian

L0:Agreement;

L1:(2) Submitting schedules listing serviceable and usable contractor inventory for

L0:screening to the TCO (see FAR 45.6);

L1:(3) Sending all termination settlement proposals submitted by U.S. subcontractors and

L0:suppliers to the TCO of the cognizant contract administration office of the Defense Contract

L0:Management Agency for settlement;

L1:(4) Including the amount of the net settlement of U.S. subcontractors and suppliers in the

L0:termination proposal;

L1:(5) Executing the settlement agreement with these subcontractors;

L1:(6) Administering contracts that the U.S. contracting officer terminates; and

L1:(7) Settling all Canadian subcontracts in accordance with the policies, practices, and

L0:procedures of the Canadian Government.

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49

L0:Defense FAR Supplement (DFARS) Part 249

L0:PGI 249.7001 Congressional notification on significant contract terminations.

L1:(1) Department and agency liaison offices will coordinate timing of the congressional

L0:notification and public release of the information with release of the termination notice to the
L0:contractor. Department and agency liaison offices are?

L1:(i) Army - Chief, Legislative Liaison (SALL-SPA).

L1:(ii) Navy - Chief of Legislative Affairs (OLA-N).

L1:(iii) Air Force - SAF/AQC.

L1:(iv) Defense Advanced Research Projects Agency - CMO.

L1:(v) Defense Information Systems Agency - Contract Management Division (Code
L0:260).

L1:(vi) Defense Intelligence Agency - RSQ.

L1:(vii) Defense Logistics Agency - DLSC-P.

L1:(viii) National Geospatial-Intelligence Agency - NGA (A).

L1:(ix) Defense Threat Reduction Agency - Acquisition Management Office (AM).

L1:(x) National Security Agency/Central Security Service - Chief, Office of Contracting.

L1:(xi) Missile Defense Agency - Director of Contracts (MDA-DCT).

L1:(2) Request clearance to release information in accordance with departmental

L0:procedures as soon as possible after the decision to terminate is made. Until clearance has

L0:been obtained, treat this information as "Controlled Unclassified Information" unless the

L0:information is classified.

L1:(3) Include in the request for clearance?

L1:(i) Contract number, date, and type of contract;

L1:(ii) Name of the company;

L1:(iii) Nature of contract or end item;

L1:(iv) The reason for the termination;

L0:Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 49

L0:Defense FAR Supplement (DFARS) Part 249

L1:(v) Contract price of the items terminated;

L1:(vi) Total number of contractor employees involved, including the Government's

L0:estimate of the number who may be discharged;

L1:(vii) Statement of anticipated impact on the company and the community;

L1:(viii) The area labor category, whether the contractor is a large or small business,

L0:and any known impact on hard core disadvantaged employment programs;

L1:(ix) Total number of subcontractors involved and the impact in this area; and

L1:(x) An unclassified draft of a suggested press release.

L1:(4) To minimize termination costs, liaison offices will act promptly on all requests for

L0:clearance and will provide a response not later than two working days after receipt of the

L0:request.

PART 52

252.201-7000 Contracting Officer's Representative

Status: active

L0:252.201-7000 Contracting Officer's Representative.

L0:As prescribed in 201.602-70 , use the following clause:

L0:CONTRACTING OFFICER'S REPRESENTATIVE (DEC 1991)

L1:(a) Definition. ?Contracting officer's representative? means an individual designated in accordance with subsection L0:201.602-2 of the Defense Federal Acquisition Regulation Supplement and authorized in writing by the contracting officer

L0:to perform specific technical or administrative functions.

L1:(b) If the Contracting Officer designates a contracting officer's representative (COR), the Contractor will receive a copy of

L0:the written designation. It will specify the extent of the COR's authority to act on behalf of the contracting officer. The L0:COR is not authorized to make any commitments or changes that will affect price, quality, quantity, delivery, or any other

L0:term or condition of the contract.

L0:(End of clause)

252.203-7000 Requirements Relating to Compensation of Former DoD Officials

Status: active

L0:252.203-7000 Requirements Relating to Compensation of Former DoD Officials.

L0:As prescribed in 203.171-4 (a), use the following clause:

L0:REQUIREMENTS RELATING TO COMPENSATION OF FORMER DOD OFFICIALS (SEP 2011)

L1:(a) Definition. ?Covered DoD official,? as used in this clause, means an individual that?

L1:(1) Leaves or left DoD service on or after January 28, 2008; and

L1:(2)(i) Participated personally and substantially in an acquisition as defined in 41 U.S.C. 131 with a value in excess of \$10

L0:million, and serves or served?

L1:(A) In an Executive Schedule position under subchapter II of chapter 53 of Title 5, United States Code;

L1:(B) In a position in the Senior Executive Service under subchapter VIII of chapter 53 of Title 5, United States Code; or

L1:(C) In a general or flag officer position compensated at a rate of pay for grade O-7 or above under section 201 of Title 37,

L0:United States Code; or

L1:(ii) Serves or served in DoD in one of the following positions: program manager, deputy program manager, procuring L0:contracting officer, administrative contracting officer, source selection authority, member of the source selection evaluation

L0:board, or chief of a financial or technical evaluation team for a contract in an amount in excess of \$10 million.

L1:(b) The Contractor shall not knowingly provide compensation to a covered DoD official within 2 years after the official L0:leaves DoD service, without first determining that the official has sought and received, or has not received after 30

days of

L0:seeking, a written opinion from the appropriate DoD ethics counselor regarding the applicability of post-employment
L0:restrictions to the activities that the official is expected to undertake on behalf of the Contractor.

L1:(c) Failure by the Contractor to comply with paragraph (b) of this clause may subject the Contractor to rescission of
this

L0:contract, suspension, or debarment in accordance with 41 U.S.C. 2105(c).

L0:(End of clause)

252.203-7001 Prohibition on Persons Convicted of Fraud or Other Defense Contract-Related Felonies

Status: active

L0:252.203-7001 Prohibition on Persons Convicted of Fraud or Other Defense Contract-Related Felonies.

L0:As prescribed in 203.570-3 , use the following clause:

L0:PROHIBITION ON PERSONS CONVICTED OF FRAUD OR OTHER DEFENSE-CONTRACT-RELATED
FELONIES

L0:(JAN 2023)

L1:(a) Definitions. As used in this clause?

L1:(1) ?Arising out of a contract with the DoD? means any act in connection with?

L1:(i) Attempting to obtain;

L1:(ii) Obtaining; or

L1:(iii) Performing a contract or first-tier subcontract of any agency, department, or component of the Department of
Defense

L1:(DoD).

L1:(2) ?Conviction of fraud or any other felony? means any conviction for fraud or a felony in violation of state or
Federal

L0:criminal statutes, whether entered on a verdict or plea, including a plea of nolo contendere, for which sentence has
been

L0:imposed.

L1:(3) ?Date of conviction? means the date judgment was entered against the individual.

L1:(b) Any individual who is convicted after September 29, 1988, of fraud or any other felony arising out of a contract
with

L0:the DoD is prohibited from serving?

L1:(1) In a management or supervisory capacity on this contract;

L1:(2) On the board of directors of the Contractor;

L1:(3) As a consultant, agent, or representative for the Contractor; or

L1:(4) In any other capacity with the authority to influence, advise, or control the decisions of the Contractor with regard
to

L0:this contract.

L1:(c) Unless waived, the prohibition in paragraph (b) of this clause applies for not less than 5 years from the date of
L0:conviction.

L1:(d) 10 U.S.C. 4656 provides that the Contractor shall be subject to a criminal penalty of not more than \$500,000 if

L0:convicted of knowingly?

L1:(1) Employing a person under a prohibition specified in paragraph (b) of this clause; or

L1:(2) Allowing such a person to serve on the board of directors of the contractor or first-tier subcontractor.

L1:(e) In addition to the criminal penalties contained in 10 U.S.C. 4656, the Government may consider other available L0:remedies, such as?

L1:(1) Suspension or debarment;

L1:(2) Cancellation of the contract at no cost to the Government; or

L1:(3) Termination of the contract for default.

L1:(f) The Contractor may submit written requests for waiver of the prohibition in paragraph (b) of this clause to the L0:Contracting Officer. Requests shall clearly identify?

L1:(1) The person involved;

L1:(2) The nature of the conviction and resultant sentence or punishment imposed;

L1:(3) The reasons for the requested waiver; and

L1:(4) An explanation of why a waiver is in the interest of national security.

L1:(g) Subcontracts. The Contractor agrees to include the substance of this clause, appropriately modified to reflect the L0:identity and relationship of the parties, in all first-tier subcontracts exceeding the simplified acquisition threshold in Part 2

L0:of the Federal Acquisition Regulation, except those for commercial products, commercial services, or commercial L0:components.

L1:(h) Pursuant to 10 U.S.C. 4656(c), defense contractors and subcontractors may obtain information as to whether a L0:particular person has been convicted of fraud or any other felony arising out of a contract with the DoD by contacting The

L0:Office of Justice Programs, The Denial of Federal Benefits Office, U.S. Department of Justice, telephone 301-937-1542;

L0:www.ojp.usdoj.gov/BJA/grant/DPFC.html.

L0:(End of clause)

252.203-7002 Requirement to Inform Employees of Whistleblower Rights

Status: active

L0:252.203-7002 Requirement to Inform Employees of Whistleblower Rights.

L0:As prescribed in 203.970 , use the following clause:

L0:REQUIREMENT TO INFORM EMPLOYEES OF WHISTLEBLOWER RIGHTS (DEC 2022)

L1:(a) The Contractor shall inform its employees in writing, in the predominant native language of the workforce, of L0:contractor employee whistleblower rights and protections under 10 U.S.C. 4701, as described in subpart 203.9 of the

L0:Defense Federal Acquisition Regulation Supplement.

L1:(b) The Contractor shall include the substance of this clause, including this paragraph (b), in all subcontracts.

L0:(End of clause)

252.203-7003 Agency Office of the Inspector General

Status: active

L0:252.203-7003 Agency Office of the Inspector General.

L0:As prescribed in 203.1004 (a), use the following clause:

L0:AGENCY OFFICE OF THE INSPECTOR GENERAL (AUG 2019)

L0:The agency office of the Inspector General referenced in paragraphs (c) and (d) of FAR clause 52.203-13, Contractor Code

L0:of Business Ethics and Conduct, is the DoD Office of Inspector General at the following address:

L0:Department of Defense Office of Inspector General

L0:Administrative Investigations

L0:Contractor Disclosure Program

L0:4800 Mark Center Drive, Suite 14L25

L0:Alexandria, VA 22350-1500

L0:Toll Free Telephone: 866-429-8011

L0:Website: <https://www.dodig.mil/Programs/Contractor-Disclosure-Program/>.

L0:(End of clause)

252.203-7004 Display of Hotline Posters

Status: active

L0:252.203-7004 Display of Hotline Posters.

L0:As prescribed in 203.1004 (b)(2)(ii), use the following clause:

L0:DISPLAY OF HOTLINE POSTERS (JAN 2023)

L1:(a) Definition. As used in this clause?

L0:United States means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Display of hotline poster(s).

L1:(1)(i) The Contractor shall display prominently the DoD fraud, waste, and abuse hotline poster prepared by the DoD Office

L0:of the Inspector General, in effect at time of contract award, in common work areas within business segments performing

L0:work under Department of Defense (DoD) contracts.

L1:(ii) For contracts performed outside the United States, when security concerns can be appropriately demonstrated, the

L0:contracting officer may provide the contractor the option to publicize the program to contractor personnel in a manner

L0:other than public display of the poster, such as private employee written instructions and briefings.

L1:(2) If the contract is funded, in whole or in part, by Department of Homeland Security (DHS) disaster relief funds and the

L0:work is to be performed in the United States, the DHS fraud hotline poster shall be displayed in addition to the DoD hotline

L0:poster. If a display of a DHS fraud hotline poster is required, the Contractor may obtain such poster from?

L1:(i) DHS Office of Inspector General/MAIL STOP 0305, Attn: Office of Investigations - Hotline, 245 Murray Lane SW,

L0:Washington, DC 20528-0305; or

L1:(ii) Via the internet at https://www.oig.dhs.gov/assets/Hotline/DHS_OIG_Hotline-optimized.jpg.

L1:(c)(1) The DoD hotline poster may be obtained from: Defense Hotline, The Pentagon, Washington, D.C. 20301-1900, or is

L0:also available via the internet at <https://www.dodig.mil/Resources/Posters-and-Brochures/>.

L1:(2) If a significant portion of the employee workforce does not speak English, then the poster is to be displayed in

the

L0:foreign languages that a significant portion of the employees speak.

L1:(3) Additionally, if the Contractor maintains a company website as a method of providing information to employees, the

L0:Contractor shall display an electronic version of the required poster at the website.

L1:(d) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (d), in all subcontracts

L0:that exceed the threshold specified in Defense Federal Acquisition Regulation Supplement 203.1004 (b)(2)(ii) on the date

L0:of subcontract award, except when the subcontract is for the acquisition of a commercial product or commercial service.

L0:(End of clause)

252.203-7005 Representation Relating to Compensation of Former DoD Officials

Status: active

L0:252.203-7005 Representation Relating to Compensation of Former DoD Officials.

L0:As prescribed in 203.171-4 (b), insert the following provision:

L0:REPRESENTATION RELATING TO COMPENSATION OF FORMER DOD OFFICIALS (SEP 2022)

L1:(a) Definition. ?Covered DoD official? is defined in the clause at 252.203-7000 , Requirements Relating to Compensation

L0:of Former DoD Officials.

L1:(b) By submission of this offer, the Offeror represents, to the best of its knowledge and belief, that all covered DoD L0:officials employed by or otherwise receiving compensation from the Offeror, and who are expected to undertake activities

L0:on behalf of the Offeror for any resulting contract, are presently in compliance with all applicable post-employment L0:restrictions, including those contained in 18 U.S.C. 207, 41 U.S.C. 2101-2107, 5 CFR part 2641, section 1045 of the L0:National Defense Authorization Act for Fiscal Year 2018 (Pub. L. 115-91), and Federal Acquisition Regulation 3.104-2.

L0:(End of provision)

252.204-7000 Disclosure of Information

Status: active

L0:252.204-7000 Disclosure of Information.

L0:As prescribed in 204.404-70 (a), use the following clause:

L0:DISCLOSURE OF INFORMATION (OCT 2016)

L1:(a) The Contractor shall not release to anyone outside the Contractor's organization any unclassified information, regardless

L0:of medium (e.g., film, tape, document), pertaining to any part of this contract or any program related to this contract, unless

L0:?

L1:(1) The Contracting Officer has given prior written approval;

L1:(2) The information is otherwise in the public domain before the date of release; or

L1:(3) The information results from or arises during the performance of a project that involves no covered defense information

L0:(as defined in the clause at DFARS 252.204-7012) and has been scoped and negotiated by the contracting activity with the

L0:contractor and research performer and determined in writing by the contracting officer to be fundamental research (which

L0:by definition cannot involve any covered defense information), in accordance with National Security Decision Directive

L0:189, National Policy on the Transfer of Scientific, Technical and Engineering Information, in effect on the date of contract

L0:award and the Under Secretary of Defense (Acquisition and Sustainment) memoranda on Fundamental Research, dated

L0:May 24, 2010, and on Contracted Fundamental Research, dated June 26, 2008 (available at DFARS PGI 204.4).

L1:(b) Requests for approval under paragraph (a)(1) shall identify the specific information to be released, the medium to be

L0:used, and the purpose for the release. The Contractor shall submit its request to the Contracting Officer at least 10 business

L0:days before the proposed date for release.

L1:(c) The Contractor agrees to include a similar requirement, including this paragraph (c), in each subcontract under this

L0:contract. Subcontractors shall submit requests for authorization to release through the prime contractor to the Contracting

L0:Officer.

L0:(End of clause)

252.204-7002 Payment for Contract Line or Subline Items Not Separately Priced

Status: active

L0:252.204-7002 Payment for Contract Line or Subline Items Not Separately Priced.

L0:As prescribed in 204.7109 (a), use the following clause:

L0:Payment for CONTRACT LINE OR Subline Items Not Separately Priced (APR 2020)

L1:(a) If the schedule in this contract contains any contract line or subline items identified as not separately priced (NSP), it

L0:means that the unit price for the NSP line or subline item is included in the unit price of another, related line or subline

L0:item.

L1:(b) The Contractor shall not invoice the Government for an item that includes in its price an NSP item until?

L1:(1) The Contractor has also delivered the NSP item included in the price of the item being invoiced; and

L1:(2) The Government has accepted the NSP item.

L1:(c) This clause does not apply to technical data.

L0:(End of clause)

252.204-7003 Control of Government Personnel Work Product

Status: active

L0:252.204-7003 Control of Government Personnel Work Product.

L0:As prescribed in 204.404-70 (b), use the following clause:

L0:CONTROL OF GOVERNMENT PERSONNEL WORK PRODUCT (APR 1992)

L0:The Contractor's procedures for protecting against unauthorized disclosure of information shall not require Department of

L0:Defense employees or members of the Armed Forces to relinquish control of their work products, whether classified or not,

L0:to the Contractor.

L0:(End of clause)

252.204-7004 Antiterrorism Awareness Training for Contractors

Status: active

L0:252.204-7004 Antiterrorism Awareness Training for Contractors.

L0:As prescribed in 204.7203 , use the following clause:

L0:Antiterrorism Awareness Training for Contractors (JAN 2023)

L1:(a) Definition. As used in this clause?

L0: "Military installation" means a base, camp, post, station, yard, center, or other activity under the jurisdiction of the

L0:Secretary of a military department or, in the case of an activity in a foreign country, under the operational control of the

L0:Secretary of a military department or the Secretary of Defense (see 10 U.S.C. 2801(c)(4)).

L1:(b) Training. Contractor personnel who require routine physical access to a Federally-controlled facility or military

L0:installation shall complete Level I antiterrorism awareness training within 30 days of requiring access and annually

L0:thereafter. In accordance with Department of Defense Instruction O-2000.16 Volume 1, DoD Antiterrorism (AT) Program

L0:Implementation: DoD AT Standards, Level I antiterrorism awareness training shall be completed?

L1:(1) Through a DoD-sponsored and certified computer or web-based distance learning instruction for Level I antiterrorism

L0:awareness; or

L1:(2) Under the instruction of a Level I antiterrorism awareness instructor.

L1:(c) Additional information. Information and guidance pertaining to DoD antiterrorism awareness training is available at

L0:<https://jko.jten.mil/> or as otherwise identified in the performance work statement.

L1:(d) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (d), in subcontracts,

L0:including subcontracts for commercial products and commercial services, when subcontractor performance requires routine

L0:physical access to a Federally-controlled facility or military installation.

L0:(End of clause)

252.204-7006 Billing Instructions-Cost Vouchers

Status: active

L0:252.204-7006 Billing Instructions-Cost Vouchers.

L0:As prescribed in 204.7109 (b), use the following clause:

L0:BILLING INSTRUCTIONS-COST VOUCHERS (MAY 2023)

L0:When submitting a request for payment using a cost voucher, the Contractor shall?

L1:(a) Identify the contract line item(s) on the payment request that reasonably reflect contract work performance; and

L1:(b) Separately identify a payment amount for each contract line item included in the payment request.

L0:(End of clause)

252.204-7007 Alternate A, Annual Representations and Certifications

Status: active

L0:252.204-7007 Alternate A, Annual Representations and Certifications.

L0:As prescribed in 204.1202 , use the following provision:

L0:Alternate A, Annual Representations and Certifications (OCT 2025)

L0:Substitute the following paragraphs (b), (d), and (e) for paragraphs (b) and (d) of the provision at FAR 52.204-8:

L1:(b)(1) If the provision at FAR 52.204-7, System for Award Management, is included in this solicitation, paragraph (e) of

L0:this provision applies.

L1:(2) If the provision at FAR 52.204-7, System for Award Management, is not included in this solicitation, and the Offeror

L0:has an active registration in the System for Award Management (SAM), the Offeror may choose to use paragraph (e) of this

L0:provision instead of completing the corresponding individual representations and certifications in the solicitation. The

L0:Offeror shall indicate which option applies by checking one of the following boxes:

L0:___ (i) Paragraph (e) applies.

L0:___ (ii) Paragraph (e) does not apply and the Offeror has completed the individual representations and certifications in the

L0:solicitation.

L1:(d)(1) The following representations or certifications in the SAM database are applicable to this solicitation as indicated:

L1:(i) 252.204-7016 , Covered Defense Telecommunications Equipment or Services?Representation. Applies to all

L0:solicitations.

L1:(ii) 252.216-7008 , Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government.

L0:Applies to solicitations for fixed-price supply and service contracts when the contract is to be performed wholly or in part

L0:in a foreign country, and a foreign government controls wage rates or material prices and may during contract performance

L0:impose a mandatory change in wages or prices of materials.

L1:(iii) 252.225-7042 , Authorization to Perform. Applies to all solicitations when performance will be wholly or in part in a

L0:foreign country.

L1:(iv) 252.225-7049 , Prohibition on Acquisition of Certain Foreign Commercial Satellite Services?Representations.

L0:Applies to solicitations for the acquisition of commercial satellite services.

L1:(v) 252.225-7050, Disclosure of Ownership or Control by the Government of a Country that is a State Sponsor of

L0:Terrorism. Applies to all solicitations expected to result in contracts of \$200,000 or more.

L1:(vi) 252.229-7012 , Tax Exemptions (Italy)?Representation. Applies to solicitations and contracts when contract

L0:performance will be in Italy.

L1:(vii) 252.229-7013 , Tax Exemptions (Spain)?Representation. Applies to solicitations and contracts when contract

L0:performance will be in Spain.

L1:(2) The following representations or certifications in SAM are applicable to this solicitation as indicated by the Contracting

L0:Officer: [Contracting Officer check as appropriate.]

L0:___ (i) 252.209-7002 , Disclosure of Ownership or Control by a Foreign Government.

L0:___ (ii) 252.225-7000 , Buy American?Balance of Payments Program Certificate.

L0:___ (iii) 252.225-7020 , Trade Agreements Certificate.

L0:___ Use with Alternate I.

L0:___ (iv) 252.225-7031 , Secondary Arab Boycott of Israel.

L0:___ (v) 252.225-7035 , Buy American?Free Trade Agreements?Balance of Payments Program Certificate.

L0:___ Use with Alternate I.

L0:___ Use with Alternate II.

L0:___ Use with Alternate III.

L0:___ Use with Alternate IV.

L0:___ Use with Alternate V.

L0:___ (vi) 252.226-7002 , Representation for Demonstration Project for Contractors Employing Persons with Disabilities.

L0:___ (vii) 252.232-7015 , Performance-Based Payments?Representation.

L1:(e) The Offeror has completed the annual representations and certifications electronically via the SAM website at

L0:<https://www.sam.gov> . After reviewing the SAM database information, the Offeror verifies by submission of the offer that

L0:the representations and certifications currently posted electronically that apply to this solicitation as indicated in FAR

L0:52.204-8(c) and paragraph (d) of this provision have been entered or updated within the last 12 months, are current,

L0:accurate, complete, and applicable to this solicitation (including the business size standard applicable to the NAICS code

L0:referenced for this solicitation), as of the date of this offer, and are incorporated in this offer by reference (see FAR 4.1201);

L0:except for the changes identified below [Offeror to insert changes, identifying change by provision number, title, date].

L0:These amended representation(s) and/or certification(s) are also incorporated in this offer and are current, accurate, and

L0:complete as of the date of this offer.

L0:FAR/DFARS Provision #

L0>Title

L0>Date

L0:Change

L0:Any changes provided by the Offeror are applicable to this solicitation only, and do not result in an update to the

L0:representations and certifications located in the SAM database.

L0:(End of provision)

252.204-7008 Compliance with Safeguarding Covered Defense Information Controls

Status: active

L0:252.204-7008 Compliance with Safeguarding Covered Defense Information Controls.

L0:As prescribed in 204.7304 (a), use the following provision:

L0:COMPLIANCE WITH SAFEGUARDING COVERED DEFENSE INFORMATION CONTROLS (OCT 2016)

L1:(a) Definitions. As used in this provision?

L0:?Controlled technical information,? ?covered contractor information system,? ?covered defense information,? ?cyber

L0:incident,? ?information system,? and ?technical information? are defined in clause 252.204-7012 , Safeguarding Covered

L0:Defense Information and Cyber Incident Reporting.

L1:(b) The security requirements required by contract clause 252.204-7012 , shall be implemented for all covered defense

L0:information on all covered contractor information systems that support the performance of this contract.

L1:(c) For covered contractor information systems that are not part of an information technology service or system operated on

L0:behalf of the Government (see 252.204-7012 (b)(2)?

L1:(1) By submission of this offer, the Offeror represents that it will implement the security requirements specified by

L0:National Institute of Standards and Technology (NIST) Special Publication (SP) 800-171 ?Protecting Controlled

L0:Unclassified Information in Nonfederal Information Systems and Organizations? (see

L0:<http://dx.doi.org/10.6028/NIST.SP.800-171>) that are in effect at the time the solicitation is issued or as authorized by the

L0:contracting officer not later than December 31, 2017.

L1:(2)(i) If the Offeror proposes to vary from any of the security requirements specified by NIST SP 800-171 that are in effect

L0:at the time the solicitation is issued or as authorized by the Contracting Officer, the Offeror shall submit to the Contracting

L0:Officer, for consideration by the DoD Chief Information Officer (CIO), a written explanation of?

L1:(A) Why a particular security requirement is not applicable; or

L1:(B) How an alternative but equally effective, security measure is used to compensate for the inability to satisfy a particular

L0:requirement and achieve equivalent protection.

L1:(ii) An authorized representative of the DoD CIO will adjudicate offeror requests to vary from NIST SP 800-171

L0:requirements in writing prior to contract award. Any accepted variance from NIST SP 800-171 shall be incorporated into

L0:the resulting contract.

L0:(End of provision)

252.204-7009 Limitations on the Use or Disclosure of Third-Party Contractor Reported Cyber Incident

L0:252.204-7009 Limitations on the Use or Disclosure of Third-Party Contractor Reported Cyber Incident

L0:Information.

L0:As prescribed in 204.7304 (b), use the following clause:

L0:LIMITATIONS ON THE USE OR DISCLOSURE OF THIRD-PARTY CONTRACTOR REPORTED CYBER INCIDENT

L0:INFORMATION (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?"Compromise?" means disclosure of information to unauthorized persons, or a violation of the security policy of a system,

L0:in which unauthorized intentional or unintentional disclosure, modification, destruction, or loss of an object, or the copying

L0:of information to unauthorized media may have occurred.

L0:?"Controlled technical information?" means technical information with military or space application that is subject to

L0:controls on the access, use, reproduction, modification, performance, display, release, disclosure, or dissemination.

L0:Controlled technical information would meet the criteria, if disseminated, for distribution statements B through F using the

L0:criteria set forth in DoD Instruction 5230.24, Distribution Statements on Technical Documents. The term does not include

L0:information that is lawfully publicly available without restrictions.

L0:?"Covered defense information?" means unclassified controlled technical information or other information (as described in

L0:the Controlled Unclassified Information (CUI) Registry at <http://www.archives.gov/cui/registry/category-list.html>) that

L0:requires safeguarding or dissemination controls pursuant to and consistent with law, regulations, and Governmentwide

L0:policies, and is?

L1:(1) Marked or otherwise identified in the contract, task order, or delivery order and provided to the contractor by or on

L0:behalf of DoD in support of the performance of the contract; or

L1:(2) Collected, developed, received, transmitted, used, or stored by or on behalf of the contractor in support of the

L0:performance of the contract.

L0:?"Cyber incident?" means actions taken through the use of computer networks that result in a compromise or an actual or

L0:potentially adverse effect on an information system and/or the information residing therein.

L0:?"Information system?" means a discrete set of information resources organized for the collection, processing, maintenance,

L0:use, sharing, dissemination, or disposition of information.

L0:?"Media?" means physical devices or writing surfaces including, but is not limited to, magnetic tapes, optical disks, magnetic

L0:disks, large-scale integration memory chips, and printouts onto which covered defense information is recorded, stored, or

L0:printed within a covered contractor information system.

L0:?"Technical information?" means technical data or computer software, as those terms are defined in the clause at DFARS

252.227-7013 (e)(2) or 252.227-7018 (e)(2) of this contract), the Contracting Officer may until such data is accepted by the

Status: active

L0:252.227-7013 (e)(2) or 252.227-7018 (e)(2) of this contract), the Contracting Officer may until such data is accepted by the

L0:Government, withhold payment to the Contractor of ten percent (10%) of the total contract price or amount unless a lesser

L0:withholding is specified in the contract. Payments shall not be withheld nor any other action taken pursuant to this

L0:paragraph when the Contractor's failure to make timely delivery or to deliver such data without deficiencies arises out of

L0:causes beyond the control and without the fault or negligence of the Contractor.

L1:(b) The withholding of any amount or subsequent payment to the Contractor shall not be construed as a waiver of any

L0:rights accruing to the Government under this contract.

L0:(End of clause)

252.204-7010 Requirement for Contractor to Notify DoD if the Contractors Activities are Subject to Reporting

Status: active

L0:252.204-7010 Requirement for Contractor to Notify DoD if the Contractors Activities are Subject to Reporting

L0:Under the U.S.-International Atomic Energy Agency Additional Protocol.

L0:As prescribed in 204.470-3 , use the following clause:

L0:REQUIREMENT FOR CONTRACTOR TO NOTIFY DOD IF THE CONTRACTOR'S ACTIVITIES ARE SUBJECT TO

L0:REPORTING UNDER THE U.S.-INTERNATIONAL ATOMIC ENERGY AGENCY ADDITIONAL PROTOCOL (JAN **L0:2009)**

L1:(a) If the Contractor is required to report any of its activities in accordance with Department of Commerce regulations (15

L0:CFR Part 781 et seq.) or Nuclear Regulatory Commission regulations (10 CFR Part 75) in order to implement the

L0:declarations required by the U.S.-International Atomic Energy Agency Additional Protocol (U.S.-IAEA AP), the

L0:Contractor shall?

L1:(1) Immediately provide written notification to the following DoD Program Manager:

L0:[Contracting Officer to insert Program Manager's name, mailing address, e-mail address, telephone number, and facsimile

L0:number];

L1:(2) Include in the notification?

L1:(i) Where DoD contract activities or information are located relative to the activities or information to be declared to the

L0:Department of Commerce or the Nuclear Regulatory Commission; and

L1:(ii) If or when any current or former DoD contract activities and the activities to be declared to the Department of

L0:Commerce or the Nuclear Regulatory Commission have been or will be co-located or located near enough to one another

L0:to result in disclosure of the DoD activities during an IAEA inspection or visit; and

L1:(3) Provide a copy of the notification to the Contracting Officer.

L1:(b) After receipt of a notification submitted in accordance with paragraph (a) of this clause, the DoD Program Manager will

L0:?

L1:(1) Conduct a security assessment to determine if and by what means access may be granted to the IAEA; or

L1:(2) Provide written justification to the component or agency treaty office for a national security exclusion, in accordance

L0:with DoD Instruction 2060.03, Application of the National Security Exclusion to the Agreements Between the United

L0:States of America and the International Atomic Energy Agency for the Application of Safeguards in the United States of

L0:America. DoD will notify the Contractor if a national security exclusion is applied at the Contractor?s location to prohibit

L0:access by the IAEA.

L1:(c) If the DoD Program Manager determines that a security assessment is required?

L1:(1) DoD will, at a minimum?

L1:(i) Notify the Contractor that DoD officials intend to conduct an assessment of vulnerabilities to IAEA inspections or visits;

L1:(ii) Notify the Contractor of the time at which the assessment will be conducted, at least 30 days prior to the assessment;

L1:(iii) Provide the Contractor with advance notice of the credentials of the DoD officials who will conduct the assessment;

L0:and

L1:(iv) To the maximum extent practicable, conduct the assessment in a manner that does not impede or delay operations at

L0:the Contractor?s facility; and

L1:(2) The Contractor shall provide access to the site and shall cooperate with DoD officials in the assessment of

L0:vulnerabilities to IAEA inspections or visits.

L1:(d) Following a security assessment of the Contractor?s facility, DoD officials will notify the Contractor as to?

L1:(1) Whether the Contractor?s facility has any vulnerabilities where potentially declarable activities under the U.S.-IAEA

L0:AP are taking place;

L1:(2) Whether additional security measures are needed; and

L1:(3) Whether DoD will apply a national security exclusion.

L1:(e) If DoD applies a national security exclusion, the Contractor shall not grant access to IAEA inspectors.

L1:(f) If DoD does not apply a national security exclusion, the Contractor shall apply managed access to prevent disclosure of

L0:program activities, locations, or information in the U.S. declaration.

L1:(g) The Contractor shall not delay submission of any reports required by the Department of Commerce or the Nuclear

L0:Regulatory Commission while awaiting a DoD response to a notification provided in accordance with this clause.

L1:(h) The Contractor shall incorporate the substance of this clause, including this paragraph (h), in all subcontracts that are

L0:subject to the provisions of the U.S.-IAEA AP.

L0:(End of clause)

252.204-7012 Safeguarding Covered Defense Information and Cyber Incident Reporting

Status: active

L0:252.204-7012 Safeguarding Covered Defense Information and Cyber Incident Reporting.

L0:As prescribed in 204.7304 (c), use the following clause:

L0:SAFEGUARDING COVERED DEFENSE INFORMATION AND CYBER INCIDENT REPORTING (MAY 2024)

L1:(a) Definitions. As used in this clause?

L0: Adequate security? means protective measures that are commensurate with the consequences and probability of loss,

L0: misuse, or unauthorized access to, or modification of information.

L0: Compromise? means disclosure of information to unauthorized persons, or a violation of the security policy of a system,

L0: in which unauthorized intentional or unintentional disclosure, modification, destruction, or loss of an object, or the copying

L0: of information to unauthorized media may have occurred.

L0: Contractor attributional/proprietary information? means information that identifies the contractor(s), whether directly or

L0: indirectly, by the grouping of information that can be traced back to the contractor(s) (e.g., program description, facility

L0: locations), personally identifiable information, as well as trade secrets, commercial or financial information, or other

L0: commercially sensitive information that is not customarily shared outside of the company.

L0: Controlled technical information? means technical information with military or space application that is subject to

L0: controls on the access, use, reproduction, modification, performance, display, release, disclosure, or dissemination.

L0: Controlled technical information would meet the criteria, if disseminated, for distribution statements B through F using the

L0: criteria set forth in DoD Instruction 5230.24, Distribution Statements on Technical Documents. The term does not include

L0: information that is lawfully publicly available without restrictions.

L0: Covered contractor information system? means an unclassified information system that is owned, or operated by or for, a

L0: contractor and that processes, stores, or transmits covered defense information.

L0: Covered defense information? means unclassified controlled technical information or other information, as described in

L0: the Controlled Unclassified Information (CUI) Registry at <http://www.archives.gov/cui/registry/category-list.html>, that

L0: requires safeguarding or dissemination controls pursuant to and consistent with law, regulations, and Governmentwide

L0: policies, and is?

L1:(1) Marked or otherwise identified in the contract, task order, or delivery order and provided to the contractor by or on

L0: behalf of DoD in support of the performance of the contract; or

L1:(2) Collected, developed, received, transmitted, used, or stored by or on behalf of the contractor in support of the

L0: performance of the contract.

L0: Cyber incident? means actions taken through the use of computer networks that result in a compromise or an actual or

L0: potentially adverse effect on an information system and/or the information residing therein.

L0:Forensic analysis? means the practice of gathering, retaining, and analyzing computer-related data for investigative purposes in a manner that maintains the integrity of the data.

L0:Information system? means a discrete set of information resources organized for the collection, processing, maintenance,

L0:use, sharing, dissemination, or disposition of information.

L0:Malicious software? means computer software or firmware intended to perform an unauthorized process that will have

L0:adverse impact on the confidentiality, integrity, or availability of an information system. This definition includes a virus,

L0:worm, Trojan horse, or other code-based entity that infects a host, as well as spyware and some forms of adware.

L0:Media? means physical devices or writing surfaces including, but is not limited to, magnetic tapes, optical disks, magnetic

L0:disks, large-scale integration memory chips, and printouts onto which covered defense information is recorded, stored, or

L0:printed within a covered contractor information system.

L0:Operationally critical support?? means supplies or services designated by the Government as critical for airlift, sealift,

L0:intermodal transportation services, or logistical support that is essential to the mobilization, deployment, or sustainment of

L0:the Armed Forces in a contingency operation.

L0:Rapidly report? means within 72 hours of discovery of any cyber incident.

L0:Technical information? means technical data or computer software, as those terms are defined in the clause at DFARS

252.204-7014) under a contract, the primary purpose of which is to furnish independent and impartial advice or technical

Status: active

L0:252.204-7014) under a contract, the primary purpose of which is to furnish independent and impartial advice or technical

L0:assistance directly to the Government in support of the Government's management and oversight of a program or effort

L0:(rather than to directly furnish an end item or service to accomplish a program or effort), provided that the contractor?

L1:(1) Is not affiliated with the prime contractor or a first-tier subcontractor on the program or effort, or with any direct

L0:competitor of such prime contractor or any such first-tier subcontractor in furnishing end items or services of the type

L0:developed or produced on the program or effort; and

L1:(2) Receives access to technical data or computer software for performance of a Government contract that contains the

L0:clause at 252.227-7025, Limitations on the Use or Disclosure of Government-Furnished Information Marked with

L0:Restrictive Legends.

L0:Form, fit, and function data? means technical data that describe the required overall physical, functional, and performance

L0:characteristics (along with the qualification requirements, if applicable) of an item, component, or process to the

extent

L0:necessary to permit identification of physically and functionally interchangeable items.

L0:Technical data? means recorded information, regardless of the form or method of recording, of a scientific or technical

L0:nature (including computer software documentation). The term does not include computer software or financial,

L0:administrative, cost or pricing, or management information, or information incidental to contract administration.

L1:(b) Applicability. This clause governs the technical data pertaining to any portion of a commercial product or commercial

L0:service that was developed exclusively at private expense. If the commercial product or commercial service was developed

L0:in any part at Government expense?

L1:(1) The clause at Defense Federal Acquisition Regulation Supplement (DFARS) 252.227-7018, Rights in Other Than L0:Commercial Technical Data and Computer Software?Small Business Innovation Research Program and Small Business

L0:Technology Transfer Program, governs technical data that are generated during any portion of performance that is covered

L0:under the Small Business Innovation Research (SBIR) Program or Small Business Technology Transfer (STTR) Program;

L0:and

L1:(2) The clause at DFARS 252.227-7013, Rights in Technical Data?Other Than Commercial Products and Commercial

L0:Services, governs the technical data pertaining to any portion of a commercial product or commercial service that was

L0:developed in any part at Government expense and is not covered under the SBIR or STTR program.

L1:(c) License.

L1:(1) The Government shall have the unrestricted right to use, modify, reproduce, release, perform, display, or disclose

L0:technical data, and to permit others to do so, that?

L1:(i) Have been provided to the Government or others without restrictions on use, modification, reproduction, release, or

L0:further disclosure other than a release or disclosure resulting from the sale, transfer, or other assignment of interest in the

L0:technical data to another party or the sale or transfer of some or all of a business entity or its assets to another party;

L1:(ii) Are form, fit, and function data;

L1:(iii) Are a correction or change to technical data furnished to the Contractor by the Government;

L1:(iv) Are necessary for operation, maintenance, installation, or training (other than detailed manufacturing or process data);

L0:or

L1:(v) Have been provided to the Government under a prior contract or licensing agreement through which the Government

L0:has acquired the rights to use, modify, reproduce, release, perform, display, or disclose the data without restrictions.

L1:(2) Except as provided in paragraph (c)(1) of this clause, the Government may use, modify, reproduce, release, perform,

L0:display, or disclose technical data within the Government only. The Government shall not?

L1:(i) Use the technical data to manufacture additional quantities of the commercial products; or

L1:(ii) Release, perform, display, disclose, or authorize use of the technical data outside the Government without the

L0:Contractor's written permission unless a release, disclosure, or permitted use is necessary for emergency repair or overhaul

L0:of the commercial products furnished under this contract, or for performance of work by covered Government support

L0:contractors.

L1:(3) The Contractor acknowledges that?

L1:(i) Technical data covered by paragraph (c)(2) of this clause are authorized to be released or disclosed to covered

L0:Government support contractors;

L1:(ii) The Contractor will be notified of such release or disclosure;

L1:(iii) The Contractor (or the party asserting restrictions as identified in a restrictive legend) may require each such covered

L0:Government support contractor to enter into a nondisclosure agreement directly with the Contractor (or the party asserting

L0:restrictions) regarding the covered Government support contractor's use of such data, or alternatively, that the Contractor

L0:(or party asserting restrictions) may waive in writing the requirement for an nondisclosure agreement; and

L1:(iv) Any such nondisclosure agreement shall address the restrictions on the covered Government support contractor's use

L0:of the data as set forth in the clause at DFARS 252.227-7025, Limitations on the Use or Disclosure of GovernmentFurnished Information Marked with Restrictive Legends. The nondisclosure agreement shall not include any additional

L0:terms and conditions unless mutually agreed to by the parties to the nondisclosure agreement.

L1:(d) Additional license rights. The Contractor, its subcontractors, and suppliers are not required to provide the Government

L0:additional rights to use, modify, reproduce, release, perform, display, or disclose technical data. However, if the

L0:Government desires to obtain additional rights in technical data, the Contractor agrees to promptly enter into negotiations

L0:with the Contracting Officer to determine whether there are acceptable terms for transferring such rights. All technical data

L0:in which the Contractor has granted the Government additional rights shall be listed or described in a special license

L0:agreement made part of this contract. The license shall enumerate the additional rights granted the Government in such

L0:data.

L1:(e) Release from liability. The Contractor agrees that the Government, and other persons to whom the Government may

L0:have released or disclosed technical data delivered or otherwise furnished under this contract, shall have no liability for any

L0:release or disclosure of technical data that are not marked to indicate that such data are licensed data subject to use,

L0:modification, reproduction, release, performance, display, or disclosure restrictions.

L1:(f) Subcontractors or suppliers.

L1:(1) The Contractor shall recognize and protect the rights afforded its subcontractors and suppliers under 10 U.S.C. 3771-

L0:3775,10 U.S.C. 3781-3786, and 15 U.S.C. 638(j)(1)(B)(iii) and (v).

L1:(2) Whenever any technical data related to commercial products or commercial services developed in any part at private

L0:expense will be obtained from a subcontractor or supplier for delivery to the Government under this contract, the

L0:Contractor shall use this clause in the subcontract or other contractual instrument, including subcontracts and other

L0:contractual instruments for commercial products or commercial services, and require its subcontractors or suppliers to do

L0:so, without alteration, except to identify the parties. This clause will govern the technical data pertaining to any portion of a

L0:commercial product or commercial service that was developed exclusively at private expense, and the Contractor shall use

L0:the following clauses to <https://www.acq.osd.mil/dpap/dars/dfars/html/current/252227.htm#252.227-7013> govern the

L0:technical data pertaining to any portion of a commercial product or commercial service that was developed in any part at

L0:Government expense:

L1:(i) Use the clause at DFARS 252.227-7013, Rights in Technical Data?Other Than Commercial Products and Commercial

L0:Services, to govern any technical data that are not generated during any portion of performance that is covered under the

L0:SBIR or STTR program.

L1:(ii) Use the clause at 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software?Small

L0:Business Innovation Research Program and Small Business Technology Transfer Program, to govern technical data that are

L0:generated during any portion of performance that is covered under the SBIR or STTR program.

L0:(End of clause)

L0:Alternate I (JAN 2025)

L0:As prescribed in 227.7102-4(a)(2), add the following definition of "Vessel design" in alphabetical order to paragraph (a)

L0:and add paragraph (c)(4) to the basic clause:

L1:(a) "Vessel design" means the design of a vessel, boat, or craft, and its components, including the hull, decks,

L0:superstructure, and the exterior surface shape of all external shipboard equipment and systems. The term includes designs

L0:covered by 10 U.S.C. 8687, and designs protectable under 17 U.S.C. 1301, et seq.

L1:(c)(4) Vessel designs. For a vessel design (including a vessel design embodied in a useful article) that is developed or

L0:delivered under this contract, the Government shall have the right to make and have made any useful article that embodies

L0:the vessel design, to import the article, to sell the article, and to distribute the article for sale or to use the article in trade, to

L0:the same extent that the Government is granted rights in the technical data pertaining to the vessel design.

252.204-7015 Notice of Authorized Disclosure of Information for Litigation Support

Status: active

L0:252.204-7015 Notice of Authorized Disclosure of Information for Litigation Support.

L0:As prescribed in 204.7403 (b), use the following clause:

L0:NOTICE OF AUTHORIZED DISCLOSURE OF INFORMATION FOR LITIGATION SUPPORT (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?"Computer software?" means computer programs, source code, source code listings, object code listings, design details,

L0:algorithms, processes, flow charts, formulae, and related material that would enable the software to be reproduced,

L0:recreated, or recompiled. Computer software does not include computer data bases or computer software documentation.

L0:?"Litigation support?" means administrative, technical, or professional services provided in support of the Government

L0:during or in anticipation of litigation.

L0:"Litigation support contractor" means a contractor (including its experts, technical consultants, subcontractors, and

L0:suppliers) providing litigation support under a contract that contains the clause at 252.204-7014 , Limitations on the Use or

L0:Disclosure of Information by Litigation Support Contractors.

L0:?"Sensitive information?" means controlled unclassified information of a commercial, financial, proprietary, or privileged

L0:nature. The term includes technical data and computer software, but does not include information that is lawfully, publicly

L0:available without restriction.

L0:?"Technical data?" means recorded information, regardless of the form or method of the recording, of a scientific or technical

L0:nature (including computer software documentation). The term does not include computer software or data incidental to

L0:contract administration, such as financial and/or management information.

L1:(b) Notice of authorized disclosures. Notwithstanding any other provision of this solicitation or contract, the Government

L0:may disclose to a litigation support contractor, for the sole purpose of litigation support activities, any information,

L0:including sensitive information, received?

L1:(1) Within or in connection with a quotation or offer; or

L1:(2) In the performance of or in connection with a contract.

L1:(c) Subcontracts. Include the substance of this clause, including this paragraph (c), in all subcontracts, including

L0:subcontracts for commercial products or commercial services.

L0:(End of clause)

252.204-7016 , Covered Defense Telecommunications Equipment or Services?Representation, that it ?does not provide

Status: active

L0:252.204-7016 , Covered Defense Telecommunications Equipment or Services?Representation, that it ?does not provide

L0:covered defense telecommunications equipment or services as a part of its offered products or services to the Government

L0:in the performance of any contract, subcontract, or other contractual instrument.?

L1:(a) Definitions. ?Covered defense telecommunications equipment or services,? ?covered mission,? ?critical technology,?

L0:and ?substantial or essential component,? as used in this provision, have the meanings given in the 252.204-7018 clause,

L0:Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services, of this solicitation.

L1:(b) Prohibition. Section 1656 of the National Defense Authorization Act for Fiscal Year 2018 (Pub. L. 115-91) prohibits

L0:agencies from procuring or obtaining, or extending or renewing a contract to procure or obtain, any equipment, system, or

L0:service to carry out covered missions that uses covered defense telecommunications equipment or services as a substantial

L0:or essential component of any system, or as critical technology as part of any system.

L1:(c) Procedures. The Offeror shall review the list of excluded parties in the System for Award Management (SAM) at

L0:<https://www.sam.gov> for entities that are excluded when providing any equipment, system, or service to carry out covered

L0:missions that uses covered defense telecommunications equipment or services as a substantial or essential component of

L0:any system, or as critical technology as part of any system, unless a waiver is granted.

L1:(d) Representation. If in its annual representations and certifications in SAM the Offeror has represented in paragraph (c)

L0:of the provision at 252.204-7016 , Covered Defense Telecommunications Equipment or Services?Representation, that it

L0:does? provide covered defense telecommunications equipment or services as a part of its offered products or services to

L0:the Government in the performance of any contract, subcontract, or other contractual instrument, then the Offeror shall

L0:complete the following additional representation:

L0:The Offeror represents that it [] will [] will not provide covered defense telecommunications equipment or services as a

L0:part of its offered products or services to DoD in the performance of any award resulting from this solicitation.

L1:(e) Disclosures. If the Offeror has represented in paragraph (d) of this provision that it ?will provide covered defense

L0:telecommunications equipment or services,? the Offeror shall provide the following information as part of the offer:

L1:(1) A description of all covered defense telecommunications equipment and services offered (include brand or L0:manufacturer; product, such as model number, original equipment manufacturer (OEM) number, manufacturer part L0:number, or wholesaler number; and item description, as applicable).

L1:(2) An explanation of the proposed use of covered defense telecommunications equipment and services and any factors

L0:relevant to determining if such use would be permissible under the prohibition referenced in paragraph (b) of this L0:provision.

L1:(3) For services, the entity providing the covered defense telecommunications services (include entity name, unique entity

L0:identifier, and Commercial and Government Entity (CAGE) code, if known).

L1:(4) For equipment, the entity that produced or provided the covered defense telecommunications equipment (include entity

L0:name, unique entity identifier, CAGE code, and whether the entity was the OEM or a distributor, if known).

L0:(End of provision)

252.204-7017 Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services?

Status: active

L0:252.204-7017 Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services?

L0:Representation.

L0:As prescribed in 204.2105 (b), use the following provision:

L0:PROHIBITION ON THE ACQUISITION OF COVERED DEFENSE TELECOMMUNICATIONS EQUIPMENT OR

L0:SERVICES?REPRESENTATION (MAY 2021)

L0:The Offeror is not required to complete the representation in this provision if the Offeror has represented in the provision at

252.204-7018 Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services

Status: active

L0:252.204-7018 Prohibition on the Acquisition of Covered Defense Telecommunications Equipment or Services.

L0:As prescribed in 204.2105 (c), use the following clause:

L0:PROHIBITION ON THE ACQUISITION OF COVERED DEFENSE TELECOMMUNICATIONS EQUIPMENT OR

L0:SERVICES (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?Covered defense telecommunications equipment or services? means?

L1:(1) Telecommunications equipment produced by Huawei Technologies Company or ZTE Corporation, or any subsidiary or

L0:affiliate of such entities;

L1:(2) Telecommunications services provided by such entities or using such equipment; or

L1:(3) Telecommunications equipment or services produced or provided by an entity that the Secretary of Defense reasonably

L0:believes to be an entity owned or controlled by, or otherwise connected to, the government of a covered foreign country.

L0:?Covered foreign country? means?

L1:(1) The People's Republic of China; or

L1:(2) The Russian Federation.

L0:?Covered missions? means?

L1:(1) The nuclear deterrence mission of DoD, including with respect to nuclear command, control, and communications,

L0:integrated tactical warning and attack assessment, and continuity of Government; or

L1:(2) The homeland defense mission of DoD, including with respect to ballistic missile defense.

L0:?Critical technology? means?

L1:(1) Defense articles or defense services included on the United States Munitions List set forth in the International Traffic in

L0:Arms Regulations under subchapter M of chapter I of title 22, Code of Federal Regulations;

L1:(2) Items included on the Commerce Control List set forth in Supplement No. 1 to part 774 of the Export Administration

L0:Regulations under subchapter C of chapter VII of title 15, Code of Federal Regulations, and controlled?

L1:(i) Pursuant to multilateral regimes, including for reasons relating to national security, chemical and biological weapons

L0:proliferation, nuclear nonproliferation, or missile technology; or

L1:(ii) For reasons relating to regional stability or surreptitious listening;

L1:(3) Specially designed and prepared nuclear equipment, parts and components, materials, software, and technology covered

L0:by part 810 of title 10, Code of Federal Regulations (relating to assistance to foreign atomic energy activities);

L1:(4) Nuclear facilities, equipment, and material covered by part 110 of title 10, Code of Federal Regulations (relating to

L0:export and import of nuclear equipment and material);

L1:(5) Select agents and toxins covered by part 331 of title 7, Code of Federal Regulations, part 121 of title 9 of such Code, or

L0:part 73 of title 42 of such Code; or

L1:(6) Emerging and foundational technologies controlled pursuant to section 1758 of the Export Control Reform Act of 2018

L0:(50 U.S.C. 4817).

L0:Substantial or essential component? means any component necessary for the proper function or performance of a piece of

L0:equipment, system, or service.

L1:(b) Prohibition. In accordance with section 1656 of the National Defense Authorization Act for Fiscal Year 2018 (Pub. L.

L0:115-91), the contractor shall not provide to the Government any equipment, system, or service to carry out covered

L0:missions that uses covered defense telecommunications equipment or services as a substantial or essential component of

L0:any system, or as critical technology as part of any system, unless the covered defense telecommunication equipment or

L0:services are covered by a waiver described in Defense Federal Acquisition Regulation Supplement 204.2104 .

L1:(c) Procedures. The Contractor shall review the list of excluded parties in the System for Award Management (SAM) at

L0:<https://www.sam.gov> for entities that are excluded when providing any equipment, system, or service, to carry out covered

L0:missions, that uses covered defense telecommunications equipment or services as a substantial or essential component of

L0:any system, or as critical technology as part of any system, unless a waiver is granted.

L1:(d) Reporting.

L1:(1) In the event the Contractor identifies covered defense telecommunications equipment or services used as a substantial

L0:or essential component of any system, or as critical technology as part of any system, during contract performance, the

L0:Contractor shall report at <https://dibnet.dod.mil> the information in paragraph (d)(2) of this clause.

L1:(2) The Contractor shall report the following information pursuant to paragraph (d)(1) of this clause:

L1:(i) Within 3 business days from the date of such identification or notification: the contract number; the order number(s), if

L0:applicable; supplier name; brand; model number (original equipment manufacturer number, manufacturer part number, or

L0:wholesaler number); item description; and any readily available information about mitigation actions undertaken or L0:recommended.

L1:(ii) Within 30 business days of submitting the information in paragraph (d)(2)(i) of this clause: any further available

L0:information about mitigation actions undertaken or recommended. In addition, the Contractor shall describe the efforts it

L0:undertook to prevent use or submission of a covered defense telecommunications equipment or services, and any additional

L0:efforts that will be incorporated to prevent future use or submission of covered telecommunications equipment or services.

L1:(e) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (e), in all subcontracts

L0:and other contractual instruments, including subcontracts for the acquisition of commercial products or commercial L0:services.

L0:(End of clause)

252.204-7019 Notice of NISTSP 800-171 DoD Assessment Requirements

Status: active

L0:252.204-7019 Notice of NISTSP 800-171 DoD Assessment Requirements.

L0:As prescribed in 204.7304(d), use the following provision:

L0:NOTICE OF NIST SP 800-171 DOD ASSESSMENT REQUIREMENTS (NOV 2023)

L1:(a) Definitions.

L0:“Basic Assessment”, “Medium Assessment”, and “High Assessment” have the meaning given in the clause 252.204-7020,

L0:NIST SP 800-171 DoD Assessments.

L0:“Covered contractor information system” has the meaning given in the clause 252.204-7012, Safeguarding Covered

L0:Defense Information and Cyber Incident Reporting, of this solicitation.

L1:(b) Requirement. In order to be considered for award, if the Offeror is required to implement NIST SP 800-171, the Offeror

L0:shall have a current assessment (i.e., not more than 3 years old unless a lesser time is specified in the solicitation) (see

L0:252.204-7020) for each covered contractor information system that is relevant to the offer, contract, task order, or delivery

L0:order. The Basic, Medium, and High NIST SP 800-171 DoD Assessments are described in the NIST SP 800-171 DoD

L0:Assessment Methodology located at <https://www.acq.osd.mil/asda/dpc/cp/cyber/docs/safeguarding/NIST-SP-800?> .

L1:(c) Procedures.

L1:(1) The Offeror shall verify that summary level scores of a current NIST SP 800-171 DoD Assessment (i.e., not more than

L0:3 years old unless a lesser time is specified in the solicitation) are posted in the Supplier Performance Risk System (SPRS)

L0:() for all covered contractor information systems relevant to the offer.

L1:(2) If the Offeror does not have summary level scores of a current NIST SP 800-171 DoD Assessment (i.e., not more than 3

L0:years old unless a lesser time is specified in the solicitation) posted in SPRS, the Offeror may conduct and submit a Basic

L0:Assessment to for posting to SPRS in the format identified in paragraph (d) of this provision.

L1:(d) Summary level scores. Summary level scores for all assessments will be posted 30 days post-assessment in SPRS to

L0:provide DoD Components visibility into the summary level scores of strategic assessments.

L1:(1) Basic Assessments. An Offeror may follow the procedures in paragraph (c)(2) of this provision for posting Basic

L0:Assessments to SPRS.

L1:(i) The email shall include the following information:

L1:(A) Cybersecurity standard assessed (e.g., NIST SP 800-171 Rev 1).

L1:(B) Organization conducting the assessment (e.g., Contractor self-assessment).

L1:(C) For each system security plan (security requirement 3.12.4) supporting the performance of a DoD contract?

L1:(1) All industry Commercial and Government Entity (CAGE) code(s) associated with the information system(s) addressed

L0:by the system security plan; and

L1:(2) A brief description of the system security plan architecture, if more than one plan exists.

L1:(D) Date the assessment was completed.

L1:(E) Summary level score (e.g., 95 out of 110, NOT the individual value for each requirement).

L1:(F) Date that all requirements are expected to be implemented (i.e., a score of 110 is expected to be achieved) based on

L0:information gathered from associated plan(s) of action developed in accordance with NIST SP 800-171.

L1:(ii) If multiple system security plans are addressed in the email described at paragraph (d)(1)(i) of this section, the Offeror

L0:shall use the following format for the report:

L0:System

L0:Security Plan

L0:CAGE Codes

L0:supported by

L0:this plan

L0:Brief

L0:description of

L0:the plan

L0:architecture

L0:Date of

L0:assessment

L0:Total Score

L0:Date score of

L0:110 will

L0:achieved

L1:(2) Medium and High Assessments. DoD will post the following Medium and/or High Assessment summary level

scores to

L0:SPRS for each system assessed:

L1:(i) The standard assessed (e.g., NIST SP 800-171 Rev 1).

L1:(ii) Organization conducting the assessment, e.g., DCMA, or a specific organization (identified by Department of Defense

L0:Activity Address Code (DoDAAC)).

L1:(iii) All industry CAGE code(s) associated with the information system(s) addressed by the system security plan.

L1:(iv) A brief description of the system security plan architecture, if more than one system security plan exists.

L1:(v) Date and level of the assessment, i.e., medium or high.

L1:(vi) Summary level score (e.g., 105 out of 110, not the individual value assigned for each requirement).

L1:(vii) Date that all requirements are expected to be implemented (i.e., a score of 110 is expected to be achieved) based on

L0:information gathered from associated plan(s) of action developed in accordance with NIST SP 800-171.

L1:(3) Accessibility.

L1:(i) Assessment summary level scores posted in SPRS are available to DoD personnel, and are protected, in accordance with

L0:the standards set forth in DoD Instruction 5000.79, Defense-wide Sharing and Use of Supplier and Product Performance

L0:Information (PI).

L1:(ii) Authorized representatives of the Offeror for which the assessment was conducted may access SPRS to view their own

L0:summary level scores, in accordance with the SPRS Software User's Guide for Awardees/Contractors available at

L0:https://www.sprs.csd.disa.mil/pdf/SPRS_Awardee.pdf.

L1:(iii) A High NIST SP 800-171 DoD Assessment may result in documentation in addition to that listed in this section. DoD

L0:will retain and protect any such documentation as ?Controlled Unclassified Information (CUI)? and intended for internal

L0:DoD use only. The information will be protected against unauthorized use and release, including through the exercise of

L0:applicable exemptions under the Freedom of Information Act (e.g., Exemption 4 covers trade secrets and commercial or

L0:financial information obtained from a contractor that is privileged or confidential).

L0:(End of provision)

252.204-7020 NIST SP 800-171DoD Assessment Requirements

Status: active

L0:252.204-7020 NIST SP 800-171DoD Assessment Requirements.

L0:As prescribed in 204.7304 (e), use the following clause:

L0:NIST SP 800-171 DOD ASSESSMENT REQUIREMENTS (NOV 2023)

L1:(a) Definitions.

L0:Basic Assessment? means a contractor?s self-assessment of the contractor?s implementation of NIST SP 800-171 that?

L1:(1) Is based on the Contractor?s review of their system security plan(s) associated with covered contractor

information

L0:system(s);

L1:(2) Is conducted in accordance with the NIST SP 800-171 DoD Assessment Methodology; and

L1:(3) Results in a confidence level of ?Low? in the resulting score, because it is a self-generated score.

L0: ?Covered contractor information system? has the meaning given in the clause 252.204-7012, Safeguarding Covered

L0:Defense Information and Cyber Incident Reporting, of this contract.

L0: ?High Assessment? means an assessment that is conducted by Government personnel using NIST SP 800-171A, Assessing

L0:Security Requirements for Controlled Unclassified Information that?

L1:(1) Consists of?

L1:(i) A review of a contractor?s Basic Assessment;

L1:(ii) A thorough document review;

L1:(iii) Verification, examination, and demonstration of a Contractor?s system security plan to validate that NIST SP 800-171

L0:security requirements have been implemented as described in the contractor?s system security plan; and

L1:(iv) Discussions with the contractor to obtain additional information or clarification, as needed; and

L1:(2) Results in a confidence level of ?High? in the resulting score.

L0: ?Medium Assessment? means an assessment conducted by the Government that?

L1:(1) Consists of?

L1:(i) A review of a contractor?s Basic Assessment;

L1:(ii) A thorough document review; and

L1:(iii) Discussions with the contractor to obtain additional information or clarification, as needed; and

L1:(2) Results in a confidence level of ?Medium? in the resulting score.

L1:(b) Applicability. This clause applies to covered contractor information systems that are required to comply with the

L0:National Institute of Standards and Technology (NIST) Special Publication (SP) 800-171, in accordance with Defense

L0:Federal Acquisition Regulation System (DFARS) clause at 252.204-7012, Safeguarding Covered Defense Information and

L0:Cyber Incident Reporting, of this contract.

L1:(c) Requirements. The Contractor shall provide access to its facilities, systems, and personnel necessary for the

L0:Government to conduct a Medium or High NIST SP 800-171 DoD Assessment, as described in NIST SP 800-171 DoD

L0:Assessment Methodology at <https://www.acq.osd.mil/asda/dpc/cp/cyber/docs/safeguarding/NIST-SP-800?> , if necessary.

L1:(d) Procedures. Summary level scores for all assessments will be posted in the Supplier Performance Risk System (SPRS)

L0:() to provide DoD Components visibility into the summary level scores of strategic assessments.

L1:(1) Basic Assessments. A contractor may submit, via encrypted email, summary level scores of Basic Assessments

L0:conducted in accordance with the NIST SP 800-171 DoD Assessment Methodology to for posting to SPRS.

L1:(i) The email shall include the following information:

L1:(A) Version of NIST SP 800-171 against which the assessment was conducted.

L1:(B) Organization conducting the assessment (e.g., Contractor self-assessment).

L1:(C) For each system security plan (security requirement 3.12.4) supporting the performance of a DoD contract?

L1:(1) All industry Commercial and Government Entity (CAGE) code(s) associated with the information system(s)

addressed

L0:by the system security plan; and

L1:(2) A brief description of the system security plan architecture, if more than one plan exists.

L1:(D) Date the assessment was completed.

L1:(E) Summary level score (e.g., 95 out of 110, NOT the individual value for each requirement).

L1:(F) Date that all requirements are expected to be implemented (i.e., a score of 110 is expected to be achieved) based on

L0:information gathered from associated plan(s) of action developed in accordance with NIST SP 800-171.

L1:(ii) If multiple system security plans are addressed in the email described at paragraph (b)(1)(i) of this section, the

L0:Contractor shall use the following format for the report:

L0:CAGE Codes

L0:Brief

L0:Date score of

L0:System

L0:Security Plan

L0:supported by

L0:this plan

L0:description of

L0:the plan

L0:architecture

L0:Date of

L0:assessment

L0:Total Score

L0:110 will

L0:achieved

L1:(2) Medium and High Assessments. DoD will post the following Medium and/or High Assessment summary level scores to

L0:SPRS for each system security plan assessed:

L1:(i) The standard assessed (e.g., NIST SP 800-171 Rev 1).

L1:(ii) Organization conducting the assessment, e.g., DCMA, or a specific organization (identified by Department of Defense

L0:Activity Address Code (DoDAAC)).

L1:(iii) All industry CAGE code(s) associated with the information system(s) addressed by the system security plan.

L1:(iv) A brief description of the system security plan architecture, if more than one system security plan exists.

L1:(v) Date and level of the assessment, i.e., medium or high.

L1:(vi) Summary level score (e.g., 105 out of 110, not the individual value assigned for each requirement).

L1:(vii) Date that all requirements are expected to be implemented (i.e., a score of 110 is expected to be achieved) based on

L0:information gathered from associated plan(s) of action developed in accordance with NIST SP 800-171.

L1:(e) Rebuttals.

L1:(1) DoD will provide Medium and High Assessment summary level scores to the Contractor and offer the opportunity for

L0:rebuttal and adjudication of assessment summary level scores prior to posting the summary level scores to SPRS (see SPRS

L0:User?s Guide https://www.sprs.csd.disa.mil/pdf/SPRS_Awardee.pdf).

L1:(2) Upon completion of each assessment, the contractor has 14 business days to provide additional information to L0:demonstrate that they meet any security requirements not observed by the assessment team or to rebut the findings that

L0:may be of question.

L1:(f) Accessibility.

L1:(1) Assessment summary level scores posted in SPRS are available to DoD personnel, and are protected, in accordance

L0:with the standards set forth in DoD Instruction 5000.79, Defense-wide Sharing and Use of Supplier and Product

L0:Performance Information (PI).

L1:(2) Authorized representatives of the Contractor for which the assessment was conducted may access SPRS to view their

L0:own summary level scores, in accordance with the SPRS Software User's Guide for Awardees/Contractors available at .

L1:(3) A High NIST SP 800-171 DoD Assessment may result in documentation in addition to that listed in this clause. DoD

L0:will retain and protect any such documentation as ?Controlled Unclassified Information (CUI)? and intended for internal

L0:DoD use only. The information will be protected against unauthorized use and release, including through the exercise of

L0:applicable exemptions under the Freedom of Information Act (e.g., Exemption 4 covers trade secrets and commercial or

L0:financial information obtained from a contractor that is privileged or confidential).

L1:(g) Subcontracts.

L1:(1) The Contractor shall insert the substance of this clause, including this paragraph (g), in all subcontracts and other

L0:contractual instruments, including subcontracts for the acquisition of commercial products or commercial services

L0:(excluding commercially available off-the-shelf).

L1:(2) The Contractor shall not award a subcontract or other contractual instrument, that is subject to the implementation of

L0:NIST SP 800-171 security requirements, in accordance with DFARS clause 252.204-7012 of this contract, unless the

L0:subcontractor has completed, within the last 3 years, at least a Basic NIST SP 800-171 DoD Assessment, as described in

L0:<https://www.acq.osd.mil/asda/dpc/cp/cyber/docs/safeguarding/NIST-SP-800?> , for all covered contractor information

L0:systems relevant to its offer that are not part of an information technology service or system operated on behalf of the

L0:Government.

L1:(3) If a subcontractor does not have summary level scores of a current NIST SP 800-171 DoD Assessment (i.e., not more

L0:than 3 years old unless a lesser time is specified in the solicitation) posted in SPRS, the subcontractor may conduct and

L0:submit a Basic Assessment, in accordance with the NIST SP 800-171 DoD Assessment Methodology, to

L0:<mailto:webpmsmh@navy.mil> for posting to SPRS along with the information required by paragraph (d) of this clause.

L0:(End of clause)

252.204-7021 Contractor Compliance With the Cybersecurity Maturity Model Certification Level Requirements

Status: active

L0:252.204-7021 Contractor Compliance With the Cybersecurity Maturity Model Certification Level Requirements.

L0:As prescribed in 204.7504(a), use the following clause:

L0:CONTRACTOR COMPLIANCE WITH THE CYBERSECURITY MATURITY MODEL CERTIFICATION LEVEL

L0:REQUIREMENTS (NOV 2025)

L1:(a) Definitions. As used in this clause?

L0:Controlled unclassified information? means information the Government creates or possesses, or information an entity

L0:creates or possesses for or on behalf of the Government, that a law, regulation, or Governmentwide policy requires or

L0:permits an agency to handle using safeguarding or dissemination controls (32 CFR 2002.4(h)).

L0:Current? means?

L1:(1) With regard to Conditional Cybersecurity Maturity Model Certification (CMMC) Status?

L1:(i) Not older than 180 days for Conditional Level 2 (Self) assessments and Conditional Level 2 (certified third-party

L0:assessment organization (C3PAO)) assessments, with?

L1:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Conditional CMMC Status date (see 32

L0:CFR 170.16 and 170.17); and

L1:(B) A corresponding affirmation of continuous compliance by an affirming official (see 32 CFR 170.4); and

L1:(ii) Not older than 180 days for Conditional Level 3 (Defense Industrial Base Cybersecurity Assessment Center

L1:(DIBCAC)) assessments, with?

L1:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Conditional CMMC Status date (see 32

L0:CFR 170.18); and

L1:(B) A corresponding affirmation of continuous compliance by an affirming official;

L1:(2) With regard to Final CMMC Status?

L1:(i) Not older than 1 year for Final Level 1 (Self), with?

L1:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Final CMMC Status date (see 32 CFR

L0:170.15); and

L1:(B) A corresponding affirmation of continuous compliance, not older than 1 year, by an affirming official;

L1:(ii) Not older than 3 years for Final Level 2 (Self) assessments and Final Level 2 (C3PAO) assessments, with?

L1:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Final CMMC Status date (see 32 CFR

L0:170.16 and 170.17); and

L1:(B) A corresponding affirmation of continuous compliance, not older than 1 year, by an affirming official; and

L1:(iii) Not older than 3 years for Final Level 3 (DIBCAC) assessments, with?

L1:(A) No changes in compliance with the requirements at 32 CFR part 170 since the Final CMMC Status date (see 32 CFR

L0:170.18); and

L1:(B) A corresponding affirmation of continuous compliance, not older than 1 year, by an affirming official; and

L1:(3) With regard to affirmation of continuous compliance (32 CFR 170.22), not older than 1 year with no changes in

L0:compliance with the requirements at 32 CFR part 170.

L0:Cybersecurity Maturity Model Certification (CMMC) status? means the result of meeting or exceeding the minimum L0:required score for the corresponding assessment. The potential statuses are as follows:

L1:(1) Final Level 1 (Self).

L1:(2) Conditional Level 2 (Self).

L1:(3) Final Level 2 (Self).

L1:(4) Conditional Level 2 (C3PAO).

L1:(5) Final Level 2 (C3PAO).

L1:(6) Conditional Level 3 (DIBCAC).

L1:(7) Final Level 3 (DIBCAC).

L0:Cybersecurity Maturity Model Certification unique identifier (CMMC UID)? means 10 alpha-numeric characters assigned

L0:to each CMMC assessment and reflected in the Supplier Performance Risk System (SPRS) for each contractor information

L0:system.

L0:Federal contract information (FCI)? means information, not intended for public release, that is provided by or generated

L0:for the Government under a contract to develop or deliver a product or service to the Government. It does not include

L0:information provided by the Government to the public, such as on public websites, or simple transactional information,

L0:such as information necessary to process payments.

L0:Plan of action and milestones? means a document that identifies tasks to be accomplished. It details resources required to

L0:accomplish the elements of the plan, any milestones in meeting the tasks, and scheduled completion dates for the

L0:milestones, as defined in National Institute of Standards and Technology Special Publication 800-115 (32 CFR 170.21).

L1:(b) Framework. The Cybersecurity Maturity Model Certification (CMMC) is a framework for assessing a contractor's

L0:compliance with applicable information security protections (see 32 CFR part 170).

L1:(c) Duplication. The CMMC assessments will not duplicate efforts from any other comparable DoD assessment, except for

L0:rare circumstances when a reassessment may be necessary, for example, when there are indications of issues with

L0:cybersecurity and/or compliance with CMMC requirements.

L1:(d) Requirements. The Contractor shall?

L1:(1)(i) Have and maintain for the duration of the contract a current CMMC status at the following CMMC level, or higher:

L0:_____ [Contracting Officer insert: CMMC Level 1 (Self); CMMC Level 2 (Self); CMMC Level 2 (C3PAO); or

L0:CMMC Level 3 (DIBCAC)] for all information systems used in performance of the contract, task order, or delivery order

L0:that process, store, or transmit FCI or CUI; and

L1:(ii) Consult 32 CFR 170.23 related to the flowdown of the CMMC requirements, and flow down the correct CMMC level

L0:to subcontracts and other contractual instruments;

L1:(2) Only process, store, or transmit FCI or CUI on contractor information systems that have a CMMC status at the CMMC

L0:level required in paragraph (d)(1) of this clause, or higher;

L1:(3) Complete on an annual basis, and maintain as current, an affirmation, by the affirming official (see 32 CFR 170.4), of

L0:continuous compliance with the requirements associated with the CMMC level required in paragraph (d)(1) of this clause

L0:in the Supplier Performance Risk System (SPRS) (<https://piee.eb.mil>) for each CMMC UID applicable to each of the L0:contractor information systems that process, store, or transmit FCI or CUI and that are used in performance of the contract;

L1:(4) Ensure all subcontractors and suppliers complete prior to subcontract award, and maintain on an annual basis, an L0:affirmation, by the affirming official (see 32 CFR 170.4), of continuous compliance with the requirements associated with

L0:the CMMC level required for the subcontract or other contractual instrument for each of the subcontractor information

L0:systems that process, store, or transmit FCI or CUI and that are used in performance of the subcontract; and

L1:(5) If the Contractor has a CMMC Status of Conditional, successfully close out a valid plan of action and milestones (32

L0:CFR 170.21) to achieve a CMMC Status of Final.

L1:(e) Reporting. The Contractor shall?

L1:(1) Submit to the Contracting Officer?

L1:(i) The CMMC UID(s) issued by SPRS for contractor information systems that will process, store, or transmit FCI or CUI

L0:during performance of the contract; and

L1:(ii) Any changes in the CMMC UIDs generated in SPRS throughout the life of the contract, task order, or delivery order, if

L0:applicable;

L1:(2) Enter into SPRS the results of a current self-assessment for each CMMC UID, not covered by a C3PAO assessment or

L0:DIBCAC assessment, applicable to each of the contractor information systems that process, store, or transmit FCI or CUI

L0:and that are used in performance of the contract; and

L1:(3) Complete in SPRS on an annual basis and maintain as current an affirmation of continuous compliance by the affirming

L0:official (see 32 CFR 170.4) for each self-assessment, C3PAO assessment, or DIBCAC assessment required under the

L0:contract in SPRS.

L1:(f) Subcontracts. The Contractor shall?

L1:(1) Insert the substance of this clause, including this paragraph (f) and excluding paragraph (e)(1), in subcontracts and

L0:other contractual instruments, including those for the acquisition of commercial products and commercial services,

L0:excluding commercially available off-the-shelf items , if the subcontract or other contractual instrument will contain a

L0:requirement to process, store, or transmit FCI or CUI; and

L1:(2) Prior to awarding a subcontract or other contractual instrument, ensure that the subcontractor has a current CMMC

L0:certificate or current CMMC status at the CMMC level that is appropriate for the information that is being flowed down to

L0:the subcontractor based on the requirements at 32 CFR 170.23.

L0:(End of clause)

252.204-7022 Expediting Contract Closeout

Status: active

L0:252.204-7022 Expediting Contract Closeout.

L0:As prescribed in 204.804-70, use the following clause:

L0:Expediting Contract Closeout (MAY 2021)

L1:(a) At the conclusion of all applicable closeout requirements of Federal Acquisition Regulation 4.804, the Government and

L0:Contractor shall mutually agree on the residual dollar amount remaining on the contract. Both the Government and

L0:Contractor agree to waive payment of any residual dollar amount of \$1,000 or less to which either party may be entitled at

L0:the time of contract closeout.

L1:(b) A residual dollar amount includes all money owed to either party at the end of the contract and as a result of the L0:contract, excluding amounts connected in any way with taxation or a violation of law or regulation.

L1:(c) For purposes of determining residual dollar amounts, offsets (e.g., across multiple contracts or orders) may be

L0:considered only to the extent permitted by law.

L0:(End of clause)

252.204-7023 Reporting Requirements for Contracted Services

Status: active

L0:252.204-7023 Reporting Requirements for Contracted Services.

L0:Basic. As prescribed in 204.1705 Contract clauses.(a)(i) and (ii), use the following clause:

L0:REPORTING REQUIREMENTS FOR CONTRACTED SERVICES?BASIC (JUL 2021)

L1:(a) Definition. As used in this clause-?First-tier subcontract? means a subcontract awarded directly by the contractor for the purpose of acquiring services for

L0:performance of a prime contract. It does not include the contractor?s supplier agreements with vendors, such as long-term

L0:arrangements for materials or supplies or services that benefit multiple contracts and/or the costs of which are normally

L0:applied to a contractor?s general and administrative expenses or indirect costs.

L1:(b) The Contractor shall report annually, by October 31, at <https://www.sam.gov>, on the services performed under this

L0:contract or order, including any first-tier subcontracts, during the preceding Government fiscal year (October 1 - September

L0:30).

L1:(c) The Contractor shall report the following information for the contract or order:

L1:(1) The total dollar amount invoiced for services performed during the preceding Government fiscal year under the contract

L0:or order.

L1:(2) The number of Contractor direct labor hours, to include first-tier subcontractor direct labor hours, as applicable, L0:expended on the services performed under the contract or order during the previous Government fiscal year.

L1:(d) The Government will review the Contractor?s reported information for reasonableness and consistency with available

L0:contract information. In the event the Government believes that revisions to the Contractor?s reported information are

L0:warranted, the Government will notify the Contractor. Upon notification, the Contractor shall revise the reported

L0:information or provide the Government with a supporting rationale for the information.

L0:(End of clause)

L0:Alternate I. As prescribed in 204.1705 Contract clauses. (a)(i) and (iii), use the following clause, which substitutes

L0:?contract or agreement for each order? in lieu of ?contract or order? in paragraph (b) and ?order? in lieu of ?contract or

L0:order? in paragraphs (c) and (c)(1) and (2), and identifies the dollar threshold and service acquisition portfolio groups for

L0:which orders under the contract or agreement require service contract reporting.

L0:REPORTING REQUIREMENTS FOR CONTRACTED SERVICES?ALTERNATE I (JUL 2021)

L1:(a) Definition. As used in this clause-?First-tier subcontract? means a subcontract awarded directly by the contractor for the purpose of acquiring services for

L0:performance of a prime contract. It does not include the contractor?s supplier agreements with vendors, such as long-term

L0:arrangements for materials or supplies or services that benefit multiple contracts and/or the costs of which are normally

L0:applied to a contractor?s general and administrative expenses or indirect costs.

L1:(b) The contractor shall report annually, by October 31, at <https://www.sam.gov>, on services performed during the

L0:preceding Government fiscal year (October 1 - September 30) under this contract or agreement for each order, including

L0:any first-tier subcontract, which exceeds \$3 million for services in the following service acquisition portfolio groups:

L1:(1) Logistics management services.

L1:(2) Equipment-related services.

L1:(3) Knowledge-based services.

L1:(4) Electronics and communications services.

L1:(c) The Contractor shall report the following information for the order:

L1:(1) The total dollar amount invoiced for services performed during the preceding Government fiscal year under the order.

L1:(2) The number of Contractor direct labor hours, to include first-tier subcontractor direct labor hours, as applicable,

L0:expended on the services performed under the order during the previous Government fiscal year.

L1:(d) The Government will review the Contractor?s reported information for reasonableness and consistency with available

L0:contract information. In the event the Government believes that revisions to the Contractor?s reported information are

L0:warranted, the Government will notify the Contractor. Upon notification, the Contractor shall revise the reported

L0:information or provide the Government with a supporting rationale for the information.

L0:(End of clause)

252.204-7024 Notice on the Use of the Supplier Performance Risk System

Status: active

L0:252.204-7024 Notice on the Use of the Supplier Performance Risk System.

L0:As prescribed in 204.7604, use the following provision .

L0:NOTICE ON THE USE OF THE SUPPLIER PERFORMANCE RISK SYSTEM (MAR 2023)

L1:(a) Definitions. As used in this provision?

L0:Item risk? means the probability that a product, based on intended use, will introduce performance risk resulting in safety

L0:issues, mission degradation, or monetary loss.

L0:Price risk? means a measure of whether a proposed price for a product or service is consistent with historical prices paid

L0:for that item or service.

L0:Supplier risk? means the probability that an award may subject the procurement to the risk of unsuccessful performance or

L0:to supply chain risk (see Defense Federal Acquisition Regulation Supplement 239.7301).

L1:(b) The Supplier Performance Risk System (SPRS), available at <https://piee.eb.mil/>, will be used in the evaluation of the

L0:Quoter or Offeror's performance. SPRS retrieves item, price, quality, delivery, and contractor information on contracts

L0:from Government reporting systems in order to develop risk assessments.

L1:(c) The Contracting Officer will consider SPRS risk assessments during the evaluation of quotations or offers received in

L0:response to this solicitation as follows:

L1:(1) Item risk will be considered to determine whether the procurement represents a high performance risk to the L0:Government.

L1:(2) Price risk will be considered in determining if a proposed price is consistent with historical prices paid for a product or

L0:a service or otherwise creates a risk to the Government.

L1:(3) Supplier risk, including but not limited to quality and delivery, will be considered to assess the risk of unsuccessful

L0:performance and supply chain risk.

L1:(d) SPRS risk assessments are generated daily. Quoters or Offerors are able to access their risk assessments by following

L0:the access instructions in the SPRS user's guide available at <https://www.sprs.csd.disa.mil/reference.htm>. Quoters and

L0:Offerors are granted access to SPRS for their own risk assessment classifications only. SPRS reporting procedures and risk

L0:assessment methodology are detailed in the SPRS user's guide. The method to challenge a rating generated by SPRS is also

L0:provided in the user's guide. SPRS evaluation criteria are available at

L0:https://www.sprs.csd.disa.mil/pdf/SPRS_DataEvaluationCriteria.pdf.

L1:(e) The Contracting Officer may consider any other available and relevant information when evaluating a quotation or an

L0:offer.

L0:(End of provision)

252.204-7025 Notice of Cybersecurity Maturity Model Certification Level Requirements

Status: active

L0:252.204-7025 Notice of Cybersecurity Maturity Model Certification Level Requirements.

L0:As prescribed in 204.7504(b), use the following provision:

L0:NOTICE OF CYBERSECURITY MATURITY MODEL CERTIFICATION LEVEL REQUIREMENTS (NOV 2025)

L1:(a) Definitions. As used in this provision, "controlled unclassified information (CUI)," "current," "Cybersecurity Maturity

L0:Model Certification (CMMC) status," "Cybersecurity Maturity Model Certification unique identifier (CMMC UID),"

L0:"Federal contract information (FCI)," and "plan of action and milestones" have the meaning given in the Defense Federal

L0:Acquisition Regulation Supplement 252.204-7021, Contractor Compliance With the Cybersecurity Maturity Model

L0:Certification Level Requirements, clause of this solicitation.

L1:(b)(1) Cybersecurity Maturity Model Certification (CMMC) level. The CMMC level required by this solicitation is:

L0:_____ Contracting Officer insert: CMMC Level 1 (Self); CMMC Level 2 (Self); CMMC Level 2 (C3PAO); or

L0:CMMC Level 3 (DIBCAC). This CMMC level, or higher (see 32 CFR part 170), is required prior to award for each

L0:contractor information system that will process, store, or transmit Federal contract information (FCI) or controlled

L0:unclassified information (CUI) during performance of the contract.

L1:(2) The Offeror will not be eligible for award of a contract, task order, or delivery order resulting from this solicitation if

L0:the Offeror does not have, for each of the contractor information systems that will process, store, or transmit FCI or CUI

L0:and that will be used in performance of a contract resulting from this solicitation?

L1:(i) The current CMMC status entered in the Supplier Performance Risk System (SPRS) (<https://piee.eb.mil>) at the CMMC

L0:level required by paragraph (b)(1) of this provision; and

L1:(ii) A current affirmation of continuous compliance with the security requirements identified at 32 CFR part 170 in SPRS.

L1:(c) Plan of action and milestones. If the Offeror has a CMMC Status of Conditional, the Offeror shall successfully close out

L0:a valid plan of action and milestones (32 CFR 170.21) to achieve a CMMC Status of Final.

L1:(d) CMMC unique identifiers. The Offeror shall provide, in the proposal, the CMMC unique identifier(s) (CMMC UIDs)

L0:issued by SPRS for each contractor information system that will process, store, or transmit FCI or CUI during performance

L0:of a contract, task order, or delivery order resulting from this solicitation. The Offeror also shall update the list when new

L0:CMMC UIDs are generated in SPRS. The CMMC UIDs are provided in SPRS after the Offeror enters the results of selfassessment(s) for each such information system.

L0:(End of provision)

252.205-7000 Provision of Information to Cooperative Agreement Holders

Status: active

L0:252.205-7000 Provision of Information to Cooperative Agreement Holders.

L0:As prescribed in 205.470 , use the following clause:

L0:PROVISION OF INFORMATION TO COOPERATIVE AGREEMENT HOLDERS (JUN 2023)

L1:(a) Definition. As used in this clause?

L0:Cooperative agreement holder? means a State or local government; a nonprofit organization; a tribal organization (as

L0:defined in section 4(c) of the Indian Self-Determination and Education Assistance Act (25 U.S.C. 5304(l)); or an

L0:economic enterprise (as defined in section 3(e) of the Indian Financing Act of 1974 (25 U.S.C. 1452(e))) whether such

L0:economic enterprise is organized for profit or nonprofit purposes; which has an agreement with the Under Secretary of

L0:Defense for Acquisition and Sustainment to furnish procurement technical assistance to business entities (as defined in 10

L0:U.S.C. 4951).

L1:(b) The Contractor shall provide cooperative agreement holders, upon their request, with a list of those appropriate

L0:employees or offices responsible for entering into subcontracts under defense contracts. The list shall include the business

L0:address, telephone number, and area of responsibility of each employee or office.

L1:(c) The Contractor need not provide the listing to a particular cooperative agreement holder more frequently than once a

L0:year.

L0:(End of clause)

252.206-7000 Domestic Source Restriction

Status: active

L0:252.206-7000 Domestic Source Restriction.

L0:As prescribed at 206.302-3-70, use the following provision:

L0:DOMESTIC SOURCE RESTRICTION (AUG 2023)

L0:This solicitation is restricted to domestic sources under the authority of 10 U.S.C. 3204(a)(3). Foreign sources, except

L0:Canadian sources, are not eligible for award.

L0:(End of provision)

252.208-7000 Intent to Furnish Precious Metals as Government-Furnished Material

Status: active

L0:252.208-7000 Intent to Furnish Precious Metals as Government-Furnished Material.

L0:As prescribed in 208.7305 (a), use the following clause:

L0:INTENT TO FURNISH PRECIOUS METALS AS GOVERNMENT-FURNISHED MATERIAL (DEC 1991)

L1:(a) The Government intends to furnish precious metals required in the manufacture of items to be delivered under the

L0:contract if the Contracting Officer determines it to be in the Government's best interest. The use of Government-furnished

L0:silver is mandatory when the quantity required is one hundred troy ounces or more. The precious metal(s) will be furnished

L0:pursuant to the Government Furnished Property clause of the contract.

L1:(b) The Offeror shall cite the type (silver, gold, platinum, palladium, iridium, rhodium, and ruthenium) and quantity in

L0:whole troy ounces of precious metals required in the performance of this contract (including precious metals required for

L0:any first article or production sample), and shall specify the national stock number (NSN) and nomenclature, if known, of

L0:the deliverable item requiring precious metals.

L0:Precious Metal*

L0:Quantity

L0:Deliverable

L0:Item

L0:(NSN and

L0:Nomenclature)

L0:_____

L0:_____

L0:_____

L0:_____

L0:_____

L0:_____

L0:_____

L0:*If platinum or palladium, specify whether sponge or granules are required.

L1:(c) Offerors shall submit two prices for each deliverable item which contains precious metals?one based on the

L0:Government furnishing precious metals, and one based on the Contractor furnishing precious metals. Award will be made

L0:on the basis which is in the best interest of the Government.

L1:(d) The Contractor agrees to insert this clause, including this paragraph (d), in solicitations for subcontracts and purchase

L0:orders issued in performance of this contract, unless the Contractor knows that the item being purchased contains no

L0:precious metals.

L0:(End of clause)

252.209-7002 Disclosure of Ownership or Control by a Foreign Government

Status: active

L0:252.209-7002 Disclosure of Ownership or Control by a Foreign Government

L0:As prescribed in 209.104-70 , use the following provision:

L0:DISCLOSURE OF OWNERSHIP OR CONTROL BY A FOREIGN GOVERNMENT (DEC 2022)

L1:(a) Definitions.As used in this provision?

L1:(1) "Effectively owned or controlled" means that a foreign government or any entity controlled by a foreign government

L0:has the power, either directly or indirectly, whether exercised or exercisable, to control the election, appointment, or tenure

L0:of the Offeror's officers or a majority of the Offeror's board of directors by any means, e.g., ownership, contract, or

L0:operation of law (or equivalent power for unincorporated organizations).

L1:(2) "Entity controlled by a foreign government"?

L1:(i) Means?

L1:(A) Any domestic or foreign organization or corporation that is effectively owned or controlled by a foreign government;

L0:or

L1:(B) Any individual acting on behalf of a foreign government.

L1:(ii) Does not include an organization or corporation that is owned, but is not controlled, either directly or indirectly, by a

L0:foreign government if the ownership of that organization or corporation by that foreign government was effective before

L0:October 23, 1992.

L1:(3) "Foreign government" includes the state and the government of any country (other than the United States and its

L0:outlying areas) as well as any political subdivision, agency, or instrumentality thereof.

L1:(4) "Proscribed information" means?

L1:(i) Top Secret information;

L1:(ii) Communications security (COMSEC) material, excluding controlled cryptographic items when unkeyed or utilized

L0:with unclassified keys;

L1:(iii) Restricted Data as defined in the U.S. Atomic Energy Act of 1954, as amended;

L1:(iv) Special Access Program (SAP) information; or

L1:(v) Sensitive Compartmented Information (SCI).

L1:(b) Prohibition on award. No contract under a national security program may be awarded to an entity controlled by a

L0:foreign government if that entity requires access to proscribed information to perform the contract, unless the Secretary of

L0:Defense or a designee has waived application of 10 U.S.C. 4874.

L1:(c) Disclosure. The Offeror shall disclose any interest a foreign government has in the Offeror when that interest constitutes

L0:control by a foreign government as defined in this provision. If the Offeror is a subsidiary, it shall also disclose any

L0:reportable interest a foreign government has in any entity that owns or controls the subsidiary, including reportable interest

L0:concerning the Offeror's immediate parent, intermediate parents, and the ultimate parent. Use separate paper as needed,

L0:and provide the information in the following format:

L0:Offeror's Point of Contact for

L0:Questions about Disclosure

L0:(Name and Phone Number with

L0:Country Code, City Code and Area

L0:Code, as applicable)

L0:Name and Address of Offeror

L0:Name and Address of Entity
L0:Controlled by a Foreign
L0:Government
L0:Description of Interest, Ownership
L0:Percentage, and Identification of
L0:Foreign Government
L0:(End of provision)

252.209-7004 Subcontracting with Firms that are Owned or Controlled by the Government of a Country that is a

Status: active

L0:252.209-7004 Subcontracting with Firms that are Owned or Controlled by the Government of a Country that is a
L0:State Sponsor of Terrorism.

L0:As prescribed in 209.409 , use the following clause:

L0:SUBCONTRACTING WITH FIRMS THAT ARE OWNED OR CONTROLLED BY THE GOVERNMENT OF A
L0:COUNTRY THAT IS A STATE SPONSOR OF TERRORISM (MAY 2019)

L1:(a) Unless the Government determines that there is a compelling reason to do so, the Contractor shall not enter into
any

L0:subcontract in excess of the threshold specified in Federal Acquisition Regulation 9.405-2(b) on the date of
subcontract

L0:award with a firm, or a subsidiary of a firm, that is identified in the Exclusions section of the System for Award

L0:Management (SAM Exclusions) as being ineligible for the award of Defense contracts or subcontracts because it is
owned

L0:or controlled by the government of a country that is a state sponsor of terrorism.

L1:(b) A corporate officer or a designee of the Contractor shall notify the Contracting Officer, in writing, before entering
into a

L0:subcontract with a party that is identified, in SAM Exclusions, as being ineligible for the award of Defense contracts
or

L0:subcontracts because it is owned or controlled by the government of a country that is a state sponsor of terrorism.
The

L0:notice must include the name of the proposed subcontractor and the compelling reason(s) for doing business with
the

L0:subcontractor notwithstanding its inclusion in SAM Exclusions.

L0:(End of clause)

252.209-7006 Limitations on Contractors Acting as Lead System Integrators

Status: active

L0:252.209-7006 Limitations on Contractors Acting as Lead System Integrators.

L0:As prescribed in 209.570-4 (a), use the following provision:

L0:LIMITATIONS ON CONTRACTORS ACTING AS LEAD SYSTEM INTEGRATORS (DEC 2022)

L1:(a) Definitions. ?Lead system integrator,? ?lead system integrator with system responsibility,? and ?lead system

integrator

L0:without system responsibility,? as used in this provision, have the meanings given in the clause of this solicitation entitled

L0:Prohibited Financial Interests for Lead System Integrators? (DFARS 252.209-7007).

L1:(b) General. Unless an exception is granted, no contractor performing lead system integrator functions in the acquisition of

L0:a major system by the Department of Defense may have any direct financial interest in the development or construction of

L0:any individual system or element of any system of systems.

L1:(c) Representations.

L1:(1) The offeror represents that it does [] does not [] propose to perform this contract as a lead system integrator with

L0:system responsibility.

L1:(2) The offeror represents that it does [] does not [] propose to perform this contract as a lead system integrator without

L0:system responsibility.

L1:(3) If the offeror answered in the affirmative in paragraph (c)(1) or (2) of this provision, the offeror represents that it does [

L0:] does not [] have any direct financial interest as described in paragraph (b) of this provision with respect to the system(s),

L0:subsystem(s), system of systems, or services described in this solicitation.

L1:(d) If the offeror answered in the affirmative in paragraph (c)(3) of this provision, the offeror should contact the

L0:Contracting Officer for guidance on the possibility of submitting a mitigation plan and/or requesting an exception.

L1:(e) If the offeror does have a direct financial interest, the offeror may be prohibited from receiving an award under this

L0:solicitation, unless the offeror submits to the Contracting Officer appropriate evidence that the offeror was selected by a

L0:subcontractor to serve as a lower-tier subcontractor through a process over which the offeror exercised no control.

L1:(f) This provision implements the requirements of 10 U.S.C. 4292.

L0:(End of provision)

252.209-7007 Prohibited Financial Interests for Lead System Integrators

Status: active

L0:252.209-7007 Prohibited Financial Interests for Lead System Integrators.

L0:As prescribed in 209.570-4 (b), use the following clause:

L0:PROHIBITED FINANCIAL INTERESTS FOR LEAD SYSTEM INTEGRATORS (DEC 2022)

L1:(a) Definitions. As used in this clause?

L1:(1) ?Lead system integrator? includes ?lead system integrator with system responsibility? and ?lead system integrator

L0:without system responsibility.?

L1:(2) ?Lead system integrator with system responsibility? means a prime contractor for the development or production of a

L0:major system, if the prime contractor is not expected at the time of award to perform a substantial portion of the work

on

L0:the system and the major subsystems.

L1:(3) ?Lead system integrator without system responsibility? means a prime contractor under a contract for the procurement

L0:of services, the primary purpose of which is to perform acquisition functions closely associated with inherently

L0:governmental functions (see section 7.503(d) of the Federal Acquisition Regulation) with respect to the development or

L0:production of a major system.

L1:(b) Limitations. The Contracting Officer has determined that the Contractor meets the definition of lead system integrator

L0:with [] without [] system responsibility. Unless an exception is granted, the Contractor shall not have any direct financial

L0:interest in the development or construction of any individual system or element of any system of systems while performing

L0:lead system integrator functions in the acquisition of a major system by the Department of Defense under this contract.

L1:(c) Agreement. The Contractor agrees that during performance of this contract it will not acquire any direct financial

L0:interest as described in paragraph (b) of this clause, or, if it does acquire or plan to acquire such interest, it will immediately

L0:notify the Contracting Officer. The Contractor further agrees to provide to the Contracting Officer all relevant information

L0:regarding the change in financial interests so that the Contracting Officer can determine whether an exception applies or

L0:whether the Contractor will be allowed to continue performance on this contract. If a direct financial interest cannot be

L0:avoided, eliminated, or mitigated to the Contracting Officer?s satisfaction, the Contracting Officer may terminate this

L0:contract for default for the Contractor?s material failure to comply with the terms and conditions of award or may take

L0:other remedial measures as appropriate in the Contracting Officer?s sole discretion.

L1:(d) Notwithstanding any other clause of this contract, if the Contracting Officer determines that the Contractor

L0:misrepresented its financial interests at the time of award or has violated the agreement in paragraph (c) of this clause, the

L0:Government may terminate this contract for default for the Contractor?s material failure to comply with the terms and

L0:conditions of award or may take other remedial measures as appropriate in the Contracting Officer?s sole discretion.

L1:(e) This clause implements the requirements of 10 U.S.C. 4292.

L0:(End of clause)

252.209-7008 Notice of Prohibition Relating to Organizational Conflict of Interest?Major Defense Acquisition

Status: active

L0:252.209-7008 Notice of Prohibition Relating to Organizational Conflict of Interest?Major Defense Acquisition

L0:Program.

L0:As prescribed in 209.571-8 (a), use the following provision:

L0:NOTICE OF PROHIBITION RELATING TO ORGANIZATIONAL CONFLICT OF INTEREST?MAJOR DEFENSE

L0:ACQUISITION PROGRAM (DEC 2010)

L1:(a) Definitions. ?Major subcontractor? is defined in the clause at 252.209-7009 , Organizational Conflict of Interest?

L0:Major Defense Acquisition Program.

L1:(b) This solicitation is for the performance of systems engineering and technical assistance for a major defense acquisition

L0:program or a pre-major defense acquisition program.

L1:(c) Prohibition. As required by paragraph (b)(3) of section 207 of the Weapons System Acquisition Reform Act of 2009

L0:(Pub. L. 111-23), if awarded the contract, the contractor or any affiliate of the contractor is prohibited from participating as

L0:a prime contractor or a major subcontractor in the development or production of a weapon system under the major defense

L0:acquisition program or pre-major defense acquisition program, unless the offeror submits, and the Government approves,

L0:an Organizational Conflict of Interest Mitigation Plan.

L1:(d) Request for an exception. If the offeror requests an exception to the prohibition of paragraph (c) of this provision, then

L0:the offeror shall submit an Organizational Conflict of Interest Mitigation Plan with its offer for evaluation.

L1:(e) Incorporation of Organizational Conflict of Interest Mitigation Plan in contract. If the apparently successful offeror

L0:submitted an acceptable Organizational Conflict of Interest Mitigation Plan, and the head of the contracting activity

L0:determines that DoD needs the domain experience and expertise of the highly qualified, apparently successful offeror in

L0:accordance with FAR 209.571-7(c), then the Contracting Officer will incorporate the Organizational Conflict of Interest

L0:Mitigation Plan into the resultant contract, and paragraph (d) of the clause at 252.209-7009 will become applicable.

L0:(End of provision)

252.209-7009 Organizational Conflict of Interest?Major Defense Acquisition Program

Status: active

L0:252.209-7009 Organizational Conflict of Interest?Major Defense Acquisition Program.

L0:As prescribed in 209.571-8 (b), use the following clause:

L0:ORGANIZATIONAL CONFLICT OF INTEREST ? MAJOR DEFENSE ACQUISITION PROGRAM (MAY 2019)

L1:(a) Definition. As used in this clause?

L0:?Major subcontractor? means a subcontractor that is awarded a subcontract that equals or exceeds?

L1:(1) Both the certified cost or pricing data threshold and 10 percent of the value of the contract under which the subcontracts

L0:is awarded; or

L1:(2) The threshold specified in the definition of ?major subcontractor? at Defense Federal Acquisition Regulation

L0:Supplement 209.571-1 on the date of subcontract award.

L1:(b) This contract is for the performance of systems engineering and technical assistance for a major defense acquisition

L0:program or a pre-major defense acquisition program.

L1:(c) Prohibition. Except as provided in paragraph (d) of this clause, as required by paragraph (b)(3) of section 207 of the

L0:Weapons System Acquisition Reform Act of 2009 (Pub. L. 111-23), the Contractor or any affiliate of the Contractor is L0:prohibited from participating as a prime contractor or major subcontractor in the development or production of a weapon

L0:system under the major defense acquisition program or pre-major defense acquisition program.

L1:(d) Organizational Conflict of Interest Mitigation Plan. If the Contractor submitted an acceptable Organizational Conflict

L0:of Interest Mitigation Plan that has been incorporated into this contract, then the prohibition in paragraph (c) of this clause

L0:does not apply. The Contractor shall comply with the Organizational Conflict of Interest Mitigation Plan. Compliance with

L0:the Organizational Conflict of Interest Mitigation Plan is a material requirement of the contract. Failure to comply may L0:result in the Contractor or any affiliate of the Contractor being prohibited from participating as a contractor or major L0:subcontractor in the development or production of a weapon system under the program, in addition to any other remedies

L0:available to the Government for noncompliance with a material requirement of a contract.

L0:(End of clause)

252.209-7010 Critical Safety Items

Status: active

L0:252.209-7010 Critical Safety Items.

L0:As prescribed in 209.270-5 , use the following clause:

L0:CRITICAL SAFETY ITEMS (AUG 2011)

L1:(a) Definitions.

L0:Aviation critical safety item? means a part, an assembly, installation equipment, launch equipment, recovery equipment,

L0:or support equipment for an aircraft or aviation weapon system if the part, assembly, or equipment contains a characteristic

L0:any failure, malfunction, or absence of which could cause?

L1:(i) A catastrophic or critical failure resulting in the loss of, or serious damage to, the aircraft or weapon system;

L1:(ii) An unacceptable risk of personal injury or loss of life; or

L1:(iii) An uncommanded engine shutdown that jeopardizes safety.

L0:Design control activity? means?

L1:(i) With respect to an aviation critical safety item, the systems command of a military department that is specifically

L0:responsible for ensuring the airworthiness of an aviation system or equipment, in which an aviation critical safety item is to

L0:be used; and

L1:(ii) With respect to a ship critical safety item, the systems command of a military department that is specifically responsible

L0:for ensuring the seaworthiness of a ship or ship equipment, in which a ship critical safety item is to be used.

L0:Ship critical safety item? means any ship part, assembly, or support equipment containing a characteristic, the failure,

L0:malfuction, or absence of which could cause?

L1:(i) A catastrophic or critical failure resulting in loss of, or serious damage to, the ship; or

L1:(ii) An unacceptable risk of personal injury or loss of life.

L1:(b) Identification of critical safety items. One or more of the items being procured under this contract is an aviation or ship

L0:critical safety item. The following items have been designated aviation critical safety items or ship critical safety items by

L0:the designated design control activity:

L0:??

L0:??

L0:??

L0:??

L0:(Insert additional lines as necessary)

L1:(c) Heightened quality assurance surveillance. Items designated in paragraph (b) of this clause are subject to heightened,

L0:risk-based surveillance by the designated quality assurance representative.

L0:(End of clause)

252.209-7011 Representation for Restriction on the Use of Certain Institutions of Higher Education

Status: active

L0:252.209-7011 Representation for Restriction on the Use of Certain Institutions of Higher Education.

L0:As prescribed in 209.170-4, use the following provision:

L0:REPRESENTATION FOR RESTRICTION ON THE USE OF CERTAIN INSTITUTIONS OF HIGHER EDUCATION

L0:(AUG 2025)

L1:(a) Definitions. As used in this provision?

L0:"Confucius Institute" means?

L1:(1) Any program that receives funding or support from?

L1:(i) The Chinese International Education Foundation; or

L1:(ii) The Center for Language Exchange Cooperation of the Ministry of Education of the People's Republic of China; or

L1:(2) Any cultural institute directly or indirectly funded by the government of the People's Republic of China.

L0:"Institution of higher education" has the meaning given in 20 U.S.C. 1002.

L1:(b) Restriction. As required by section 1062 of the National Defense Authorization Act for Fiscal Year 2021 (Pub. L. 116283), DoD may not award a contract with any institution of higher education that hosts a Confucius Institute. Section 1062

L0:prohibits DoD from providing funding to any U.S. institution of higher education hosting a Confucius Institute unless that

L0:institution receives a waiver from the Department of Defense Office of the Under Secretary of Defense for Research and

L0:Engineering (OUSD(R&E)). The waiver authority terminates on October 1, 2026. Any waiver issued will not apply on or

L0:after that date. See the OUSD(R&E) Confucius Institute Waiver Program Guidance to U.S. Institutions of Higher Education at <https://rt.cto.mil/wp-content/uploads/Confucius-Institute-Waiver-Program-Guidance-28Mar2023.pdf>.

L1:(c) Representation. By submission of an offer, the Offeror represents that?

L1:(1) It is not an institution of higher education that hosts a Confucius Institute;or

L1:(2) The Offeror has obtained a waiver approved by OUSD(R&E).

L0:(End of provision)

252.209-7012 Prohibition Relating to Conflicts of Interest in Consulting Services?Certification

Status: active

L0:252.209-7012 Prohibition Relating to Conflicts of Interest in Consulting Services?Certification.

L0:As prescribed in 209.572(e), use the following provision:

L0:PROHIBITION RELATING TO CONFLICTS OF INTEREST IN CONSULTING SERVICES?CERTIFICATION (OCT L0:2025)

L1:(a) Definitions. As used in this provision?

L0:?Consulting services? means advisory and assistance services, except that ?consulting services? does not include the

L0:provision of products or services related to?

L1:(1) Compliance with legal, audit, accounting, tax, reporting, or other requirements of the laws and standards of countries;

L0:or

L1:(2) Participation in a judicial, legal, or equitable dispute resolution proceeding.

L0:?Contract oversight entity?means any of the following:

L1:(1) The Contracting Officer.

L1:(2) The Contracting Officer?s Representative.

L1:(3) The Defense Contract Management Agency.

L1:(4) The Defense Contract Audit Agency.

L1:(5) The DoD Office of Inspector General or any subcomponent of that office.

L1:(6) The Government Accountability Office.

L0:?Covered contract? means a DoD contract involving consulting services.

L0:?Covered foreign entity? means any of the following:

L1:(1) The government of the People?s Republic of China, the Chinese Communist Party, the People?s Liberation Army, the

L0:Ministry of State Security, or other security service or intelligence agency of the People?s Republic of China.

L1:(2) The government of the Russian Federation or any entity sanctioned by the Secretary of the Treasury under Executive

L0:Order 13662, Blocking Property of Additional Persons Contributing to the Situation in Ukraine.

L1:(3) The government of any country, if the Secretary of State determines that such government has repeatedly provided

L0:support for acts of international terrorism, pursuant to any of the following:

L1:(i) Section 1754(c)(1)(A) of the Export Control Reform Act of 2018 (50 U.S.C. 4318(c)(1)(A)).

L1:(ii) Section 620A of the Foreign Assistance Act of 1961 (22 U.S.C. 2371).

L1:(iii) Section 40 of the Arms Export Control Act (22 U.S.C. 2780).

L1:(iv) Any other provision of law.

L1:(4) Any entity included on any of the following lists maintained by the Department of Commerce (see the Export Administration Regulations at 15 CFR subchapter C):

L1:(i) The Entity List in supplement no. 4 to 15 CFR part 744.

L1:(ii) The Denied Persons List as described in 15 CFR 764.3(a)(2).

L1:(iii) The Unverified List in supplement no. 6 to 15 CFR part 744.

L1:(iv) The Military End User List in supplement no. 7 to 15 CFR part 744.

L1:(5) Any entity identified by the Secretary of Defense pursuant to section 1237(b) of the National Defense Authorization

L0:Act for Fiscal Year 1999 (Pub. L. 105-261; 50 U.S.C. 1701 note).

L1:(6) Any entity on the Non-Specially Designated Nationals Chinese Military-Industrial Complex Companies List

L0:maintained by the Office of Foreign Assets Control of the Department of the Treasury under Executive Order 14032, L0:Addressing the Threat From Securities Investments That Finance Certain Companies of the People's Republic of China.

L1:(b) Prohibition. DoD cannot award to the Offeror a contract assigned a North American Industry Classification System

L0:code beginning with 5416 if the Offeror?

L1:(1) Cannot certify that neither the Offeror nor any of its subsidiaries or affiliates hold a contract or subcontract that L0:involves consulting services with one or more covered foreign entities; and

L1:(2) Does not maintain a conflict-of-interest mitigation plan as described in paragraph (d) of this provision.

L1:(c) Certification. The Offeror certifies that?

L1:(1)(i) It does [] does not [] hold a contract or subcontract that involves consulting services with one or more covered L0:foreign entities; and

L1:(ii) Its subsidiaries or affiliates do [] do not [] hold a contract or subcontract that involves consulting services with one or

L0:more covered foreign entities; and

L1:(2) It does [] does not [] maintain a conflict-of-interest mitigation plan described in paragraph (d) of this provision.

L1:(d) Conflict-of-interest mitigation plan. If the Offeror answered in the affirmative in paragraphs (c)(1) and (2) of this L0:provision, then the Offeror shall submit its conflict-of-interest mitigation plan to the Contracting Officer for approval. The

L0:Offeror may contact the Contracting Officer for guidance on submitting the Offeror's conflict-of-interest mitigation plan.

L1:(1) The Offeror's conflict-of-interest mitigation plan shall be auditable by a contract oversight entity and shall include?

L1:(i) An identification, unless otherwise prohibited by law or regulation, of any covered contracts of the Offeror or its L0:subsidiaries or affiliates with a covered foreign entity. If the Offeror is unable to identify one or more covered foreign L0:entities due to confidentiality obligations, the Offeror shall identify such entities as a covered foreign entity;

L1:(ii) A written analysis, including a course of action for avoiding, neutralizing, or mitigating the actual or potential conflict

L0:of interest of such a covered contract;

L1:(iii) A description of the procedures by which the Offeror or its subsidiaries or affiliates will ensure that individuals who

L0:will perform the scope of a covered contract will not, for the duration of such contract, also provide any consulting services

L0:to any covered foreign entity; and

L1:(iv) A description of the procedures by which the Offeror or its subsidiaries or affiliates will submit to the contract

L0:oversight entities a notice of an unmitigated conflict of interest with respect to a covered contract within 15 days of

L0:determining that such a conflict has arisen.

L1:(2) The Contracting Officer will incorporate the Offeror's approved conflict-of-interest mitigation plan into any contract

L0:awarded to the Offeror resulting from this solicitation.

L0:(End of provision)

252.209-7998 Representation Regarding Conviction of a Felony Criminal Violation under any Federal or State Law

Status: active

L0:252.209-7998 Representation Regarding Conviction of a Felony Criminal Violation under any Federal or State Law.

L0:See Class Deviation 2012-O0007, Prohibition Against Contracting with Corporations that Have a Felony Conviction, dated

L0:March 9, 2012. Contracting officers shall include the provision at 252.209-7998 in all solicitations that will use funds made

L0:available by Division H of the Consolidated Appropriations Act, 2012, including solicitations for acquisition of

L0:commercial items under FAR part 12, and shall apply the restrictions included in the deviation. This deviation is effective

L0:beginning March 9, 2012, and remains in effect until incorporated in the FAR or DFARS or otherwise rescinded.

252.209-7999 Representation by Corporations Regarding an Unpaid Delinquent Tax Liability or a Felony

Status: active

L0:252.209-7999 Representation by Corporations Regarding an Unpaid Delinquent Tax Liability or a Felony

L0:Conviction under any Federal Law.

L0:See Class Deviation 2012-O0004, Prohibition Against Contracting With Corporations That Have an Unpaid Delinquent

L0:Tax Liability or a Felony Conviction under Federal Law, dated January 23, 2012. Contracting officers shall include this

L0:provision in all solicitations that will use funds made available by Division A of the Consolidated Appropriations Act,

L0:2012, including solicitations for acquisition of commercial items under FAR part 12, and shall apply the restrictions

L0:included in the deviation. This deviation is effective beginning January 23, 2012, and remains in effect until incorporated in

L0:the FAR or DFARS or otherwise rescinded.

252.211-7002 Availability for Examination of Specifications, Standards, Plans, Drawings, Data Item Descriptions,

Status: active

L0:252.211-7002 Availability for Examination of Specifications, Standards, Plans, Drawings, Data Item Descriptions, L0:and Other Pertinent Documents.

L0:As prescribed in 211.204 (c), use the following provision:

L0:AVAILABILITY FOR EXAMINATION OF SPECIFICATIONS, STANDARDS, PLANS, DRAWINGS, DATA ITEM

L0:DESCRIPTIONS, AND OTHER PERTINENT DOCUMENTS (DEC 1991)

L0:The specifications, standards, plans, drawings, data item descriptions, and other pertinent documents cited in this

L0:solicitation are not available for distribution but may be examined at the following location:

L0:(Insert complete address)

L0:(End of provision)

252.211-7003 Item Unique Identification and Valuation

Status: active

L0:252.211-7003 Item Unique Identification and Valuation.

L0:As prescribed in 211.274-5 (a), use the following clause:

L0:ITEM UNIQUE IDENTIFICATION AND VALUATION (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Automatic identification device? means a device, such as a reader or interrogator, used to retrieve data encoded on

L0:machine-readable media.

L0:Concatenated unique item identifier? means?

L1:(1) For items that are serialized within the enterprise identifier, the linking together of the unique identifier data elements in

L0:order of the issuing agency code, enterprise identifier, and unique serial number within the enterprise identifier; or

L1:(2) For items that are serialized within the original part, lot, or batch number, the linking together of the unique identifier

L0:data elements in order of the issuing agency code; enterprise identifier; original part, lot, or batch number; and serial L0:number within the original part, lot, or batch number.

L0:Data matrix? means a two-dimensional matrix symbology, which is made up of square or, in some cases, round modules

L0:arranged within a perimeter finder pattern and uses the Error Checking and Correction 200 (ECC200) specification found

L0:within International Standards Organization (ISO)/International Electrotechnical Commission (IEC) 16022.

L0:Data qualifier? means a specified character (or string of characters) that immediately precedes a data field that defines the

L0:general category or intended use of the data that follows.

L0:DoD recognized unique identification equivalent? means a unique identification method that is in commercial use and has

L0:been recognized by DoD. All DoD recognized unique identification equivalents are listed at

L0:<https://www.acq.osd.mil/asda/dpc/ce/ds/unique-id.html> .

L0:DoD item unique identification? means a system of marking items delivered to DoD with unique item identifiers that have

L0:machine-readable data elements to distinguish an item from all other like and unlike items. For items that are serialized

L0:within the enterprise identifier, the unique item identifier shall include the data elements of the enterprise identifier and a

L0:unique serial number. For items that are serialized within the part, lot, or batch number within the enterprise identifier, the

L0:unique item identifier shall include the data elements of the enterprise identifier; the original part, lot, or batch number; and

L0:the serial number.

L0:?"Enterprise?" means the entity (e.g., a manufacturer or vendor) responsible for assigning unique item identifiers to items.

L0:?"Enterprise identifier?" means a code that is uniquely assigned to an enterprise by an issuing agency.

L0:?"Government?"s unit acquisition cost?" means?

L1:(1) For fixed-price type line, subline, or exhibit line items, the unit price identified in the contract at the time of delivery;

L1:(2) For cost-type or undefinitized line, subline, or exhibit line items, the Contractor?s estimated fully burdened unit cost to

L0:the Government at the time of delivery; and

L1:(3) For items produced under a time-and-materials contract, the Contractor?s estimated fully burdened unit cost to the

L0:Government at the time of delivery.

L0:?"Issuing agency?" means an organization responsible for assigning a globally unique identifier to an enterprise, as indicated

L0:in the Register of Issuing Agency Codes for ISO/IEC 15459, located at http://www.aimglobal.org/?Reg_Authority15459.

L0:?"Issuing agency code?" means a code that designates the registration (or controlling) authority for the enterprise identifier.

L0:?"Item?" means a single hardware article or a single unit formed by a grouping of subassemblies, components, or constituent

L0:parts.

L0:?"Lot or batch number?" means an identifying number assigned by the enterprise to a designated group of items, usually

L0:referred to as either a lot or a batch, all of which were manufactured under identical conditions.

L0:?"Machine-readable?" means an automatic identification technology media, such as bar codes, contact memory buttons, radio

L0:frequency identification, or optical memory cards.

L0:?"Original part number?" means a combination of numbers or letters assigned by the enterprise at item creation to a class of

L0:items with the same form, fit, function, and interface.

L0:?"Parent item?" means the item assembly, intermediate component, or subassembly that has an embedded item with a unique

L0:item identifier or DoD recognized unique identification equivalent.

L0:?"Serial number within the enterprise identifier?" means a combination of numbers, letters, or symbols assigned by the

L0:enterprise to an item that provides for the differentiation of that item from any other like and unlike item and is never used

L0:again within the enterprise.

L0: ?Serial number within the part, lot, or batch number? means a combination of numbers or letters assigned by the enterprise

L0: to an item that provides for the differentiation of that item from any other like item within a part, lot, or batch number

L0: assignment.

L0: ?Serialization within the enterprise identifier? means each item produced is assigned a serial number that is unique among

L0: all the tangible items produced by the enterprise and is never used again. The enterprise is responsible for ensuring unique

L0: serialization within the enterprise identifier.

L0: ?Serialization within the part, lot, or batch number? means each item of a particular part, lot, or batch number is assigned a

L0: unique serial number within that part, lot, or batch number assignment. The enterprise is responsible for ensuring unique

L0: serialization within the part, lot, or batch number within the enterprise identifier.

L0: ?Type designation? means a combination of letters and numerals assigned by the Government to a major end item, L0: assembly or subassembly, as appropriate, to provide a convenient means of differentiating between items having the same

L0: basic name and to indicate modifications and changes thereto.

L0: ?Unique item identifier? means a set of data elements marked on items that is globally unique and unambiguous. The term

L0: includes a concatenated unique item identifier or a DoD recognized unique identification equivalent.

L0: ?Unique item identifier type? means a designator to indicate which method of uniquely identifying a part has been used.

L0: The current list of accepted unique item identifier types is maintained at <https://www.acq.osd.mil/asda/dpc/ce/ds/uniqueid.html> .

L1: (b) The Contractor shall deliver all items under a contract line, subline, or exhibit line item.

L1: (c) Unique item identifier.

L1: (1) The Contractor shall provide a unique item identifier for the following:

L1: (i) Delivered items for which the Government?s unit acquisition cost is \$5,000 or more, except for the following line items:

L0: Contract Line, Subline, or

L0: Exhibit Line Item Number Item Description

L0: _____

L0: _____

L0: _____

L1: (ii) Items for which the Government?s unit acquisition cost is less than \$5,000 that are identified in the Schedule or the

L0: following table:

L0: Contract Line, Subline, or

L0: Exhibit Line Item Number Item Description

L0: _____

L0: _____

L0: _____

L0: (If items are identified in the Schedule, insert ?See Schedule? in this table.)

L1:(iii) Subassemblies, components, and parts embedded within delivered items, items with warranty requirements, DoD

L0:serially managed reparables and DoD serially managed nonreparables as specified in Attachment Number ____.

L1:(iv) Any item of special tooling or special test equipment as defined in FAR 2.101 that have been designated for

L0:preservation and storage for a Major Defense Acquisition Program as specified in Attachment Number ____.

L1:(v) Any item not included in (i), (ii), (iii), or (iv) for which the contractor creates and marks a unique item identifier for L0:traceability.

L1:(2) The unique item identifier assignment and its component data element combination shall not be duplicated on any other

L0:item marked or registered in the DoD Item Unique Identification Registry by the contractor.

L1:(3) The unique item identifier component data elements shall be marked on an item using two dimensional data matrix

L0:symbology that complies with ISO/IEC International Standard 16022, Information technology - International symbology

L0:specification - Data matrix; ECC200 data matrix specification.

L1:(4) Data syntax and semantics of unique item identifiers. The Contractor shall ensure that?

L1:(i) The data elements (except issuing agency code) of the unique item identifier are encoded within the data matrix symbol

L0:that is marked on the item using one of the following three types of data qualifiers, as determined by the Contractor:

L1:(A) Application Identifiers (AIs) (Format Indicator 05 of ISO/IEC International Standard 15434), in accordance with

L0:ISO/IEC International Standard 15418, Information Technology - EAN/UCC Application Identifiers and Fact Data

L0:Identifiers and Maintenance and ANSI MH 10.8.2 Data Identifier and Application Identifier Standard.

L1:(B) Data Identifiers (DIs) (Format Indicator 06 of ISO/IEC International Standard 15434), in accordance with ISO/IEC

L0:International Standard 15418, Information Technology - EAN/UCC Application Identifiers and Fact Data Identifiers and

L0:Maintenance and ANSI MH 10.8.2 Data Identifier and Application Identifier Standard.

L1:(C) Text Element Identifiers (TEIs) (Format Indicator 12 of ISO/IEC International Standard 15434), in accordance with the

L0:Air Transport Association Common Support Data Dictionary; and

L1:(ii) The encoded data elements of the unique item identifier conform to the transfer structure, syntax, and coding of

L0:messages and data formats specified for Format Indicators 05, 06, and 12 in ISO/IEC International Standard 15434,

L0:Information Technology - Transfer Syntax for High Capacity Automatic Data Capture Media.

L1:(5) Unique item identifier.

L1:(i) The Contractor shall?

L1:(A) Determine whether to?

L1:(1) Serialize within the enterprise identifier;

L1:(2) Serialize within the part, lot, or batch number; or

L1:(3) Use a DoD recognized unique identification equivalent (e.g. Vehicle Identification Number); and

L1:(B) Place the data elements of the unique item identifier (enterprise identifier; serial number; DoD recognized unique L0:identification equivalent; and for serialization within the part, lot, or batch number only: original part, lot, or batch number)

L0:on items requiring marking by paragraph (c)(1) of this clause, based on the criteria provided in MIL-STD-130,

L0:Identification Marking of U.S. Military Property, latest version;

L1:(C) Label shipments, storage containers and packages that contain uniquely identified items in accordance with the

L0:requirements of MIL-STD-129, Military Marking for Shipment and Storage, latest version; and

L1:(D) Verify that the marks on items and labels on shipments, storage containers, and packages are machine readable and

L0:conform to the applicable standards. The contractor shall use an automatic identification technology device for this L0:verification that has been programmed to the requirements of Appendix A, MIL-STD-130, latest version.

L1:(ii) The issuing agency code?

L1:(A) Shall not be placed on the item; and

L1:(B) Shall be derived from the data qualifier for the enterprise identifier.

L1:(d) For each item that requires item unique identification under paragraph (c)(1)(i), (ii), or (iv) of this clause or when item

L0:unique identification is provided under paragraph (c)(1)(v), in addition to the information provided as part of the Material

L0:Inspection and Receiving Report specified elsewhere in this contract, the Contractor shall report at the time of delivery, as

L0:part of the Material Inspection and Receiving Report, the following information:

L1:(1) Unique item identifier.

L1:(2) Unique item identifier type.

L1:(3) Issuing agency code (if concatenated unique item identifier is used).

L1:(4) Enterprise identifier (if concatenated unique item identifier is used).

L1:(5) Original part number (if there is serialization within the original part number).

L1:(6) Lot or batch number (if there is serialization within the lot or batch number).

L1:(7) Current part number (optional and only if not the same as the original part number).

L1:(8) Current part number effective date (optional and only if current part number is used).

L1:(9) Serial number (if concatenated unique item identifier is used).

L1:(10) Government's unit acquisition cost.

L1:(11) Unit of measure.

L1:(12) Type designation of the item as specified in the contract schedule, if any.

L1:(13) Whether the item is an item of Special Tooling or Special Test Equipment.

L1:(14) Whether the item is covered by a warranty.

L1:(e) For embedded subassemblies, components, and parts that require DoD item unique identification under paragraph (c)(1)

L1:(iii) of this clause or when item unique identification is provided under paragraph (c)(1)(v), the Contractor shall report as

L0:part of the Material Inspection and Receiving Report specified elsewhere in this contract, the following information:

L1:(1) Unique item identifier of the parent item under paragraph (c)(1) of this clause that contains the embedded subassembly,

L0:component, or part.

L1:(2) Unique item identifier of the embedded subassembly, component, or part.

L1:(3) Unique item identifier type.**

L1:(4) Issuing agency code (if concatenated unique item identifier is used).**

L1:(5) Enterprise identifier (if concatenated unique item identifier is used).**

L1:(6) Original part number (if there is serialization within the original part number).**

L1:(7) Lot or batch number (if there is serialization within the lot or batch number).**

L1:(8) Current part number (optional and only if not the same as the original part number).**

L1:(9) Current part number effective date (optional and only if current part number is used).**

L1:(10) Serial number (if concatenated unique item identifier is used).**

L1:(11) Description.

L0:** Once per item.

L1:(f) The Contractor shall submit the information required by paragraphs (d) and (e) of this clause as follows:

L1:(1) End items shall be reported using the receiving report capability in Wide Area WorkFlow (WAWF) in accordance with

L0:the clause at 252.232-7003. If WAWF is not required by this contract, and the contractor is not using WAWF, follow the

L0:procedures at <http://dodprocurementtoolbox.com/site/uidregistry/>.

L1:(2) Embedded items shall be reported by one of the following methods?

L1:(i) Use of the embedded items capability in WAWF;

L1:(ii) Direct data submission to the IUID Registry following the procedures and formats at

L0:<http://dodprocurementtoolbox.com/site/uidregistry/>; or

L1:(iii) Via WAWF as a deliverable attachment for exhibit line item number (fill in) ____, Unique Item Identifier Report for L0:Embedded Items, Contract Data Requirements List, DD Form 1423.

L1:(g) Subcontracts. If the Contractor acquires by subcontract any item(s) for which item unique identification is required in

L0:accordance with paragraph (c)(1) of this clause, the Contractor shall include this clause, including this paragraph (g), in the

L0:applicable subcontract(s), including subcontracts for commercial products or commercial services.

L0:(End of clause)

252.211-7008 Use of Government-Assigned Serial Numbers

Status: active

L0:252.211-7008 Use of Government-Assigned Serial Numbers

L0:As prescribed in 211.274-5 (b), use the following clause:

L0:USE OF GOVERNMENT-ASSIGNED SERIAL NUMBERS (SEP 2010)

L1:(a) Definitions. As used in this clause?

L0:?'Government-assigned serial number?' means a combination of letters or numerals in a fixed human-readable information

L0:format (text) conveying information about a major end item, which is provided to a contractor by the requiring activity

L0:with accompanying technical data instructions for marking the Government-assigned serial number on major end items to

L0:be delivered to the Government.

L0:?'Major end item?' means a final combination of component parts and/or materials which is ready for its intended use and of

L0:such importance to operational readiness that review and control of inventory management functions (procurement, L0:distribution, maintenance, disposal, and asset reporting) is required at all levels of life cycle management. Major end items

L0:include aircraft; ships; boats; motorized wheeled, tracked, and towed vehicles for use on highway or rough terrain; weapon

L0:and missile end items; ammunition; and sets, assemblies, or end items having a major end item as a component.

L0:?'Unique item identifier (UII)?' means a set of data elements permanently marked on an item that is globally unique and

L0:unambiguous and never changes in order to provide traceability of the item throughout its total life cycle. The term

L0:includes a concatenated UII or a DoD-recognized unique identification equivalent.

L1:(b) The Contractor shall mark the Government-assigned serial numbers on those major end items as specified by line item

L0:in the Schedule, in accordance with the technical instructions for the placement and method of application identified in the

L0:terms and conditions of the contract.

L1:(c) The Contractor shall register the Government-assigned serial number along with the major end item's UII at the time of

L0:delivery in accordance with the provisions of the clause at DFARS 252.211-7003 (d).

L1:(d) The Contractor shall establish the UII for major end items for use throughout the life of the major end item. The

L0:Contractor may elect, but is not required, to use the Government-assigned serial number to construct the UII.

L0:(End of clause)

252.215-7002 Cost Estimating System Requirements

Status: active

L0:252.215-7002 Cost Estimating System Requirements.

L0:As prescribed in 215.408 (1), use the following clause:

L0:COST ESTIMATING SYSTEM REQUIREMENTS (JAN 2025)

L1:(a) Definitions.

L0:“Acceptable estimating system” means an estimating system that complies with the system criteria in paragraph (d) of this

L0:clause, and provides for a system that?

L1:(1) Is maintained, reliable, and consistently applied;

L1:(2) Produces verifiable, supportable, documented, and timely cost estimates that are an acceptable basis for negotiation of

L0:fair and reasonable prices;

L1:(3) Is consistent with and integrated with the Contractor's related management systems; and

L1:(4) Is subject to applicable financial control systems.

L0:“Estimating system” means the Contractor's policies, procedures, and practices for budgeting and planning controls, and

L0:generating estimates of costs and other data included in proposals submitted to customers in the expectation of receiving

L0:contract awards. Estimating system includes the Contractor's?

L1:(1) Organizational structure;

L1:(2) Established lines of authority, duties, and responsibilities;

L1:(3) Internal controls and managerial reviews;

L1:(4) Flow of work, coordination, and communication; and

L1:(5) Budgeting, planning, estimating methods, techniques, accumulation of historical costs, and other analyses used to

L0:generate cost estimates.

L0:“Material weakness” means a deficiency or combination of deficiencies in the internal control over information in

L0:contractor business systems, such that there is a reasonable possibility that a material misstatement of such

information will

L0: not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an

L0: event occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L1:(b) General. The Contractor shall establish, maintain, and comply with an acceptable estimating system.

L1:(c) Applicability. Paragraphs (d) and (e) of this clause apply if the Contractor is a large business and either?

L1:(1) In its fiscal year preceding award of this contract, received Department of Defense (DoD) prime contracts or

L0: subcontracts, totaling \$50 million or more for which certified cost or pricing data were required; or

L1:(2) In its fiscal year preceding award of this contract?

L1:(i) Received DoD prime contracts or subcontracts totaling \$10 million or more (but less than \$50 million) for which

L0: certified cost or pricing data were required; and

L1:(ii) Was notified, in writing, by the Contracting Officer that paragraphs (d) and (e) of this clause apply.

L1:(d) System requirements.

L1:(1) The Contractor shall disclose its estimating system to the Administrative Contracting Officer (ACO), in writing. If the

L0: Contractor wishes the Government to protect the data and information as privileged or confidential, the Contractor must

L0: mark the documents with the appropriate legends before submission.

L1:(2) An estimating system disclosure is acceptable when the Contractor has provided the ACO with documentation that?

L1:(i) Accurately describes those policies, procedures, and practices that the Contractor currently uses in preparing cost

L0: proposals; and

L1:(ii) Provides sufficient detail for the Government to reasonably make an informed judgment regarding the acceptability of

L0: the Contractor's estimating practices.

L1:(3) The Contractor shall?

L1:(i) Comply with its disclosed estimating system; and

L1:(ii) Disclose significant changes to the cost estimating system to the ACO on a timely basis.

L1:(4) The Contractor's estimating system shall provide for the use of appropriate source data, utilize sound estimating

L0: techniques and good judgment, maintain a consistent approach, and adhere to established policies and procedures.

An

L0: acceptable estimating system shall accomplish the following functions:

L1:(i) Establish clear responsibility for preparation, review, and approval of cost estimates and budgets.

L1:(ii) Provide a written description of the organization and duties of the personnel responsible for preparing, reviewing, and

L0: approving cost estimates and budgets.

L1:(iii) Ensure that relevant personnel have sufficient training, experience, and guidance to perform estimating and budgeting

L0: tasks in accordance with the Contractor's established procedures.

L1:(iv) Identify and document the sources of data and the estimating methods and rationale used in developing cost estimates

L0: and budgets.

L1:(v) Provide for adequate supervision throughout the estimating and budgeting process.

L1:(vi) Provide for consistent application of estimating and budgeting techniques.

L1:(vii) Provide for detection and timely correction of errors.

L1:(viii) Protect against cost duplication and omissions.

L1:(ix) Provide for the use of historical experience, including historical vendor pricing data, where appropriate.

L1:(x) Require use of appropriate analytical methods.

L1:(xi) Integrate data and information available from other management systems.

L1:(xii) Require management review, including verification of compliance with the company's estimating and budgeting L0:policies, procedures, and practices.

L1:(xiii) Provide for internal review of, and accountability for, the acceptability of the estimating system, including the L0:budgetary data supporting indirect cost estimates and comparisons of projected results to actual results, and an analysis of

L0:any differences.

L1:(xiv) Provide procedures to update cost estimates and notify the Contracting Officer in a timely manner throughout the

L0:negotiation process.

L1:(xv) Provide procedures that ensure subcontract prices are reasonable based on a documented review and analysis provided

L0:with the prime proposal, when practicable.

L1:(xvi) Provide estimating and budgeting practices that consistently generate sound proposals that are compliant with the

L0:provisions of the solicitation and are adequate to serve as a basis to reach a fair and reasonable price.

L1:(xvii) Have an adequate system description, including policies, procedures, and estimating and budgeting practices, that

L0:comply with the Federal Acquisition Regulation and Defense Federal Acquisition Regulation Supplement.

L1:(e) Material weaknesses .

L1:(1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any material weaknesses.

L0:The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand

L0:the weakness or deficiency.

L1:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that

L0:identifies material weaknesses in the Contractor's estimating system. If the Contractor disagrees with the initial

L0:determination, the Contractor shall state, in writing, its rationale for disagreeing.

L1:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting

L0:Officer's final determination concerning?

L1:(i) Remaining material weaknesses;

L1:(ii) The adequacy of any proposed or completed corrective action; and

L1:(iii) System disapproval, if the Contracting Officer determines that one or more material weaknesses remain.

L1:(f) If the Contractor receives the Contracting Officer's final determination of material weaknesses, the Contractor shall,

L0:within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable

L0:corrective action plan showing milestones and actions to eliminate the material weaknesses.

L1:(g) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor's estimating

L0:system, and the contract includes the clause at 252.242-7005 , Contractor Business Systems, the Contracting Officer will

L0:withhold payments in accordance with that clause.

L0:(End of clause)

252.215-7003 Requirement for Submission of Data Other Than Certified Cost or Pricing Data?Canadian

Status: active

L0:252.215-7003 Requirement for Submission of Data Other Than Certified Cost or Pricing Data?Canadian

L0:Commercial Corporation.

L0:As prescribed at 215.408 (2)(i), use the following provision:

L0:REQUIREMENT FOR SUBMISSION OF DATA OTHER THAN CERTIFIED COST OR PRICING DATA?

L0:CANADIAN COMMERCIAL CORPORATION (JUL 2012)

L1:(a) Submission of certified cost or pricing data is not required.

L1:(b) Canadian Commercial Corporation shall obtain and provide the following:

L1:(i) Profit rate or fee (as applicable).

L1:(ii) Analysis provided by Public Works and Government Services Canada to the Canadian Commercial Corporation to

L0:determine a fair and reasonable price (comparable to the analysis required at FAR 15.404-1).

L1:(iii) Data other than certified cost or pricing data necessary to permit a determination by the U.S. Contracting Officer that

L0:the proposed price is fair and reasonable [U.S. Contracting Officer to insert description of the data required in accordance

L0:with FAR 15.403-3(a)(1)].

L1:(c) As specified in FAR 15.403-3(a)(4), an offeror who does not comply with a requirement to submit data that the U.S.

L0:Contracting Officer has deemed necessary to determine price reasonableness or cost realism is ineligible for award unless

L0:the head of the contracting activity determines that it is in the best interest of the Government to make the award to that

L0:offeror.

L0:(End of provision)

252.215-7004 Requirement for Submission of Data Other Than Certified Cost or Pricing Data?Modifications?

Status: active

L0:252.215-7004 Requirement for Submission of Data Other Than Certified Cost or Pricing Data?Modifications?

L0:Canadian Commercial Corporation.

L0:As prescribed at 215.408 (2)(ii), use the following clause:

L0:REQUIREMENT FOR SUBMISSION OF DATA OTHER THAN CERTIFIED COST OR PRICING DATA?

L0:MODIFICATIONS?CANADIAN COMMERCIAL CORPORATION (OCT 2013)

L0:This clause, in lieu of FAR 52.215-21, applies only if award is to the Canadian Commercial Corporation.

L1:(a) Submission of certified cost or pricing data is not required.

L1:(b) Canadian Commercial Corporation shall obtain and provide the following for modifications that exceed the \$150,000

L0:[or higher dollar value specified by the U.S. Contracting Officer in the solicitation].

L1:(i) Profit rate or fee (as applicable).

L1:(ii) Analysis provided by Public Works and Government Services Canada to the Canadian Commercial Corporation to

L0:determine a fair and reasonable price (comparable to the analysis required at FAR 15.404-1).

L1:(iii) Data other than certified cost or pricing data necessary to permit a determination by the U.S. Contracting Officer that

L0:the proposed price is fair and reasonable [U.S. Contracting Officer to insert description of the data required in accordance

L0:with FAR 15.403-3(a)(1)].

L0:(End of clause)

252.215-7006 Use of Employees or Individual Subcontractors Who are Members of the Selected Reserve

Status: active

L0:252.215-7006 Use of Employees or Individual Subcontractors Who are Members of the Selected Reserve.

L0:As prescribed in 215.370-3, use the following clause:

L0:USE OF EMPLOYEES OR INDIVIDUAL SUBCONTRACTORS WHO ARE MEMBERS OF THE SELECTED

L0:RESERVE (MAR 2022)

L1:(a) Definition. As used in this clause?

L0:Selected Reserve has the meaning given that term in 10 U.S.C. 10143. Selected Reserve members normally attend regular

L0:drills throughout the year and are the group of Reserves most readily available to the President.

L1:(b) If the Contractor stated in its offer that it intends to use members of the Selected Reserve in the performance of this

L0:contract?

L1:(1) The Contractor shall use employees, or individual subcontractors, who are members of the Selected Reserve in the

L0:performance of the contract to the fullest extent consistent with efficient contract performance; and

L1:(2) The Government has the right to terminate the contract for default if the Contractor willfully or intentionally fails to use

L0:members of the Selected Reserve, as employees or individual subcontractors, in the performance of the contract.

L0:(End of clause)

252.215-7007 Notice of Intent to Resolicit

Status: active

L0:252.215-7007 Notice of Intent to Resolicit.

L0:As prescribed at 215.371-6 , use the following provision:

L0:NOTICE OF INTENT TO RESOLICIT (JUN 2012)

L0:This solicitation provides offerors fewer than 30 days to submit proposals. In the event that only one offer is received in

L0:response to this solicitation, the Contracting Officer may cancel the solicitation and resolicit for an additional period of at

L0:least 30 days in accordance with 215.371-2 .

L0:(End of provision)

252.215-7008 Only One Offer

Status: active

L0:252.215-7008 Only One Offer.

L0:As prescribed at 215.408 (3), use the following provision:

L0:ONLY ONE OFFER (DEC 2022)

L1:(a) Cost or pricing data requirements. After initial submission of offers, if the Contracting Officer notifies the Offeror that

L0:only one offer was received, the Offeror agrees to?

L1:(1) Submit any additional cost or pricing data that is required in order to determine whether the price is fair and reasonable

L0:(10 U.S.C. 3705) or to comply with the statutory requirement for certified cost or pricing data (10 U.S.C. 3702 and FAR

L0:15.403-3); and

L1:(2) Except as provided in paragraph (b) of this provision, if the acquisition exceeds the certified cost or pricing data

L0:threshold and an exception to the requirement for certified cost or pricing data at FAR 15.403-1(b)(2) through (5) does not

L0:apply, certify all cost or pricing data in accordance with paragraph (c) of DFARS provision 252.215-7010 , Requirements

L0:for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data, of this solicitation.

L1:(b) Canadian Commercial Corporation. If the Offeror is the Canadian Commercial Corporation, certified cost or pricing

L0:data are not required. If the Contracting Officer notifies the Canadian Commercial Corporation that additional data other

L0:than certified cost or pricing data are required in accordance with DFARS 225.870-4 (c), the Canadian Commercial

L0:Corporation shall obtain and provide the following:

L1:(1) Profit rate or fee (as applicable).

L1:(2) Analysis provided by Public Works and Government Services Canada to the Canadian Commercial Corporation to

L0:determine a fair and reasonable price (comparable to the analysis required at FAR 15.404-1).

L1:(3) Data other than certified cost or pricing data necessary to permit a determination by the U.S. Contracting Officer that

L0:the proposed price is fair and reasonable [U.S. Contracting Officer to provide description of the data required in

L0:accordance with FAR 15.403-3(a)(1) with the notification].

L1:(4) As specified in FAR 15.403-3(a)(4), an offeror who does not comply with a requirement to submit data that the

U.S.

L0:Contracting Officer has deemed necessary to determine price reasonableness or cost realism is ineligible for award unless

L0:the head of the contracting activity determines that it is in the best interest of the Government to make the award to that

L0:offeror.

L1:(c) Subcontracts. Unless the Offeror is the Canadian Commercial Corporation, the Offeror shall insert the substance of this

L0:provision, including this paragraph (c), in all subcontracts exceeding the simplified acquisition threshold defined in FAR

L0:part 2.

L0:(End of provision)

252.215-7009 Proposal Adequacy Checklist

Status: active

L0:252.215-7009 Proposal Adequacy Checklist.

L0:As prescribed in 215.408 (4), use the following provision:

L0:PROPOSAL ADEQUACY CHECKLIST (MAR 2023)

L0:The offeror shall complete the following checklist, providing location of requested information, or an explanation of why

L0:the requested information is not provided. In preparation of the offeror's checklist, offerors may elect to have their

L0:prospective subcontractors use the same or similar checklist as appropriate.

L0:PROPOSAL ADEQUACY CHECKLIST

L0:SUBMISSION

L0:REFERENCES

L0:ITEM

L0:PROPOSAL

L0:PAGE No.

L0:If not

L0:provided

L0:EXPLAIN

L0:(may use

L0:continuation

L0:pages)

L0:GENERAL INSTRUCTIONS

L0:1.

L0:FAR 15.408, Table

L0:15-2, Section I

L0:Paragraph A

L0:Is there a properly completed first page of

L0:the proposal per FAR 15.408 Table 15-2

L0:I. A or as specified in the solicitation?

L0:2.

L0:3.

L0:FAR 15.408, Table

L0:15-2, Section I

L0:Paragraph A(7)

L0:Does the proposal identify the need for

L0:Government-furnished

L0:material/tooling/test equipment? Include

L0:the accountable contract number and

L0:contracting officer contact information if

L0:known.

L0:FAR 15.408, Table

L0:15-2, Section I

L0:Paragraph A(8)

L0:Does the proposal identify and explain

L0:notifications of noncompliance with Cost

L0:Accounting Standards Board or Cost

L0:Accounting Standards (CAS); any

L0:proposal inconsistencies with your

L0:disclosed practices or applicable CAS;

L0:and inconsistencies with your established

L0:estimating and accounting principles and

L0:procedures?

L0:Does the proposal disclose any other

L0:known activity that could materially

L0:impact the costs?

L0:This may include, but is not limited to,

L0:such factors as?

L1:(1) Vendor quotations;

L1:(2) Nonrecurring costs;

L0:FAR 15.408, Table

L0:15-2, Section I,

L0:4.

L0:Paragraph C(1)

L0:FAR 2.101, ?Cost

L0:or pricing data?

L1:(3) Information on changes in production

L0:methods and in production or purchasing

L0:volume;

L1:(4) Data supporting projections of

L0:business prospects and objectives and

L0:related operations costs;

L1:(5) Unit-cost trends such as those

L0:associated with labor efficiency;

L1:(6) Make-or-buy decisions;
L1:(7) Estimated resources to attain business
L0:goals; and

L1:(8) Information on management decisions
L0:that could have a significant bearing on
L0:costs.

L0:FAR 15.408, Table

L0:15-2, Section I

L0:Paragraph B

L0:Is an Index of all certified cost or pricing

L0:data and information accompanying or

L0:identified in the proposal provided and

L0:appropriately referenced?

L0:6.

L0:FAR 15.403-1(b)

L0:Are there any exceptions to submission

L0:of certified cost or pricing data pursuant

L0:to FAR 15.403-1(b)? If so, is supporting

L0:documentation included in the proposal?

L0:(Note questions 18-20.)

L0:7.

L0:FAR 15.408, Table

L0:15-2, Section I

L0:Paragraph C(2)(i)

L0:Does the proposal disclose the

L0:judgmental factors applied and the

L0:mathematical or other methods used in

L0:the estimate, including those used in

L0:projecting from known data?

L0:8.

L0:FAR 15.408, Table

L0:15-2, Section I

L0:Paragraph C(2)(ii)

L0:Does the proposal disclose the nature and

L0:amount of any contingencies included in

L0:the proposed price?

L0:9.

L0:FAR 15.408 Table

L0:15-2, Section II,

L0:Paragraph A or B

L0:Does the proposal explain the basis of all

L0:cost estimating relationships (labor hours

L0:or material) proposed on other than a

L0:discrete basis?

L0:FAR 15.408, Table

L0:15-2, Section I

L0:Paragraphs D and E

L0:Is there a summary of total cost by

L0:element of cost and are the elements of

L0:cost cross-referenced to the supporting

L0:cost or pricing data? (Breakdowns for

L0:each cost element must be consistent with

L0:your cost accounting system, including

L0:breakdown by year.)

L0:5.

L0:10.

L0:11.

L0:FAR 15.408, Table

L0:15-2, Section I

L0:Paragraphs D and E

L0:If more than one Contract Line Item

L0:Number (CLIN) or sub Contract Line

L0:Item Number (sub-CLIN) is proposed as

L0:required by the RFP, are there summary

L0:total amounts covering all line items for

L0:each element of cost and is it crossreferenced to the supporting cost or

L0:pricing data?

L0:12.

L0:FAR 15.408, Table

L0:15-2, Section I

L0:Paragraph F

L0:Does the proposal identify any incurred

L0:costs for work performed before the

L0:submission of the proposal?

L0:FAR 15.408, Table

L0:15-2, Section I

L0:Paragraph G

L0:Is there a Government forward pricing

L0:rate agreement (FPRA)? If so, the offeror

L0:shall identify the official submittal of

L0:such rate and factor data. If not, does the

L0:proposal include all rates and factors by

L0:year that are utilized in the development

L0:of the proposal and the basis for those

L0:rates and factors?

L0:13.

L0:COST ELEMENTS

L0:MATERIALS AND SERVICES

L0:14.

L0:FAR 15.408, Table

L0:15-2, Section II

L0:Paragraph A

L0:Does the proposal include a consolidated

L0:summary of individual material and

L0:services, frequently referred to as a

L0:Consolidated Bill of Material (CBOM),

L0:to include the basis for pricing? The

L0:offeror?s consolidated summary shall

L0:include raw materials, parts, components,

L0:assemblies, subcontracts and services to

L0:be produced or performed by others,

L0:identifying as a minimum the item,

L0:source, quantity, and price.

L0:SUBCONTRACTS (Purchased materials or services)

L0:15.

L0:16.

L0:DFARS 215.404-3

L0:FAR 15.404-3(c)

L0:FAR 52.244-2

L0:FAR 15.408, Table

L0:15-2,

L0:17.

L0:Note 1;

L0:Section II

L0:Paragraph A

L0:Has the offeror identified in the proposal

L0:those subcontractor proposals, for which

L0:the contracting officer has initiated or

L0:may need to request field pricing

L0:analysis?

L0:Per the thresholds of FAR 15.404-3(c),

L0:Subcontract Pricing Considerations, does

L0:the proposal include a copy of the

L0:applicable subcontractor?s certified cost

L0:or pricing data?

L0:Is there a price/cost analysis establishing

L0:the reasonableness of each of the

L0:proposed subcontracts included with the

L0:proposal?

L0:If the offeror?s price/cost analyses are not

L0:provided with the proposal, does the

L0:proposal include a matrix identifying

L0:dates for receipt of subcontractor
L0:proposal, completion of fact finding for
L0:purposes of price/cost analysis, and
L0:submission of the price/cost analysis?

L0:EXCEPTIONS TO CERTIFIED COST OR PRICING DATA

L0:Has the offeror submitted an exception to
L0:the submission of certified cost or pricing
L0:data for commercial products or
L0:commercial services proposed either at
L0:the prime or subcontractor level, in
L0:accordance with provision 52.215-20?
L0:a. Has the offeror specifically identified
L0:the type of commercial product or
L0:commercial services claim (FAR 2.101
L0:[?]commercial product? or ?commercial
L0:service? definition, paragraphs (1)
L0:through (8)), and the basis on which the
L0:commercial product or commercial
L0:service meets the definition?

L0:FAR 52.215-20

L0:FAR 2.101,

L0:18.

L0:?commercial
L0:product? or
L0:?commercial
L0:service?
L0:b. For modified commercial products
L0:(FAR 2.101 ?commercial product?
L0:definition paragraph (3)); did the offeror
L0:classify the modification(s) as either?
L0:i. A modification of a type customarily
L0:available in the commercial marketplace
L0:(paragraph (3)(i)); or
L0:ii. A minor modification (paragraph (3)
L1:(ii)) of a type not customarily available in
L0:the commercial marketplace made to
L0:meet Federal Government requirements
L0:not exceeding the thresholds in FAR
L0:15.403-1(c)(3)(iii)(B)?
L0:c. For proposed commercial products ?of
L0:a type?, or ?evolved? or modified (FAR
L0:2.101? commercial product? definition),
L0:did the contractor provide a technical
L0:description of the differences between the

L0:proposed item and the comparison

L0:item(s)?

L0:19.

L0:[Reserved]

L0:20.

L0:Does the proposal support the degree of

L0:competition and the basis for establishing

L0:the source and reasonableness of price for

L0:each subcontract or purchase order priced

L0:on a competitive basis exceeding the

L0:threshold for certified cost or pricing

L0:data?

L0:FAR 15.408, Table

L0:15-2, Section II

L0:Paragraph A(1)

L0:INTERORGANIZATIONAL TRANSFERS

L0:21.

L0:22.

L0:FAR 15.408, Table

L0:15-2, Section II

L0:Paragraph A.(2)

L0:FAR 15.408, Table

L0:15-2, Section II

L0:Paragraph A(1)

L0:For inter-organizational transfers

L0:proposed at cost, does the proposal

L0:include a complete cost proposal in

L0:compliance with Table 15-2?

L0:For inter-organizational transfers

L0:proposed at price in accordance with

L0:FAR 31.205-26(e), does the proposal

L0:provide an analysis by the prime that

L0:supports the exception from certified cost

L0:or pricing data in accordance with FAR

L0:15.403-1?

L0:DIRECT LABOR

L0:23.

L0:24.

L0:25.

L0:FAR 15.408, Table

L0:15-2, Section II

L0:Paragraph B

L0:Does the proposal include a time phased

L0:(i.e.; monthly, quarterly) breakdown of

L0:labor hours, rates and costs by category
L0:or skill level? If labor is the allocation
L0:base for indirect costs, the labor cost
L0:must be summarized in order that the
L0:applicable overhead rate can be applied.
L0:FAR 15.408, Table
L0:15-2, Section II
L0:Paragraph B
L0:For labor Basis of Estimates (BOEs),
L0:does the proposal include labor
L0:categories, labor hours, and task
L0:descriptions, (e.g.; Statement of Work
L0:reference, applicable CLIN, Work
L0:Breakdown Structure, rationale for
L0:estimate, applicable history, and timephasing)?
L0:FAR subpart 22.10
L0:If covered by the Service Contract Labor
L0:Standards statute (41 U.S.C. chapter 67),
L0:are the rates in the proposal in
L0:compliance with the minimum rates
L0:specified in the statute?

L0:INDIRECT COSTS

L0:26.

L0:FAR 15.408, Table
L0:15-2, Section II
L0:Paragraph C
L0:Does the proposal indicate the basis of
L0:estimate for proposed indirect costs and
L0:how they are applied? (Support for the
L0:indirect rates could consist of cost
L0:breakdowns, trends, and budgetary data.)

L0:OTHER COSTS

L0:27.

L0:FAR 15.408, Table
L0:15-2, Section II
L0:Paragraph D
L0:Does the proposal include other direct
L0:costs and the basis for pricing? If travel is
L0:included does the proposal include
L0:number of trips, number of people,
L0:number of days per trip, locations, and
L0:rates (e.g. airfare, per diem, hotel, car
L0:rental, etc)?

L0:28.

L0:FAR 15.408, Table

L0:15-2, Section II

L0:Paragraph E

L0:If royalties exceed \$1,500 does the

L0:proposal provide the information/data

L0:identified by Table 15-2?

L0:29.

L0:FAR 15.408, Table

L0:15-2, Section II

L0:Paragraph F

L0:When facilities capital cost of money is

L0:proposed, does the proposal include

L0:submission of Form CASB-CMF or

L0:reference to an FPRA/FPRP and show the

L0:calculation of the proposed amount?

L0:FORMATS FOR SUBMISSION OF LINE ITEM SUMMARIES

L0:30.

L0:FAR 15.408, Table

L0:15-2, Section III

L0:Are all cost element breakdowns

L0:provided using the applicable format

L0:prescribed in FAR 15.408, Table 15-2 III?

L0:(or alternative format if specified in the

L0:request for proposal)

L0:31.

L0:FAR 15.408, Table

L0:15-2, Section III

L0:Paragraph B

L0:If the proposal is for a modification or

L0:change order, have cost of work deleted

L1:(credits) and cost of work added (debits)

L0:been provided in the format described in

L0:FAR 15.408, Table 15-2.III.B?

L0:32.

L0:FAR 15.408, Table

L0:15-2, Section III

L0:Paragraph C

L0:For price revisions/redeterminations,

L0:does the proposal follow the format in

L0:FAR 15.408, Table 15-2.III.C?

L0:FAR 16.4

L0:If an incentive contract type, does the

L0:proposal include offeror proposed target

L0:cost, target profit or fee, share ratio, and,

L0:when applicable, minimum/maximum

L0:fee, ceiling price?

L0:OTHER

L0:33.

L0:FAR 16.203-4 and

L0:FAR

L0:34.

L0:15.408 Table 15-2,

L0:Section II,

L0:Paragraphs A, B, C,

L0:and D

L0:35.

L0:FAR 52.232-28

L0:If Economic Price Adjustments are being

L0:proposed, does the proposal show the

L0:rationale and application for the

L0:economic price adjustment?

L0:If the offeror is proposing PerformanceBased Payments did the offeror comply

L0:with FAR 52.232-28?

L0:Excessive Pass-through Charges-

L0:Identification of Subcontract Effort: If the

L0:FAR 15.408(n)

L0:36.

L0:FAR 52.215-22

L0:FAR 52.215-23

L0:offeror intends to subcontract more than

L0:70% of the total cost of work to be

L0:performed, does the proposal identify: (i)

L0:the amount of the offeror?s indirect costs

L0:and profit applicable to the work to be

L0:performed by the proposed

L0:subcontractor(s); and (ii) a description of

L0:the added value provided by the offeror

L0:as related to the work to be performed by

L0:the proposed subcontractor(s)?

L0:(End of provision)

252.215-7010 Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data

Status: active

L0:252.215-7010 Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or Pricing Data.

L0:Basic. As prescribed in 215.408 (5)(i) and (5)(i)(A), use the following provision:

**L0:REQUIREMENTS FOR CERTIFIED COST OR PRICING DATA AND DATA OTHER THAN CERTIFIED COST OR
L0:PRICING DATA?BASIC (MAY 2024)**

L1:(a) Definitions. As used in this provision?

L0:Market prices? means current prices that are established in the course of ordinary trade between buyers and sellers free to

L0:bargain and that can be substantiated through competition or from sources independent of the offerors.

L0:Non-Government sales? means sales of the supplies or services to non-Governmental entities for purposes other than

L0:governmental purposes.

L0:Relevant sales data? means information provided by an offeror on sales of the same or similar items that can be used to

L0:establish price reasonableness taking into consideration the age, volume, and nature of the transactions (including any

L0:related discounts, refunds, rebates, offsets, or other adjustments).

L0:Sufficient non-Government sales means relevant sales data that reflects market pricing and contains enough information to

L0:make adjustments covered by Federal Acquisition Regulation (FAR) 15.404-1(b)(2)(ii)(B).

L0:Uncertified cost data? means the subset of ?data other than certified cost or pricing data? (see FAR 2.101) that relates to

L0:cost.

L1:(b) Exceptions from certified cost or pricing data.

L1:(1) In lieu of submitting certified cost or pricing data, the Offeror may submit a written request for exception by submitting

L0:the information described in paragraphs (b)(1)(i) and (ii) of this provision. The Contracting Officer may require additional

L0:supporting information, but only to the extent necessary to determine whether an exception should be granted and whether

L0:the price is fair and reasonable.

L1:(i) Exception for prices set by law or regulation - Identification of the law or regulation establishing the prices offered. If

L0:the prices are controlled under law by periodic rulings, reviews, or similar actions of a governmental body, attach a copy of

L0:the controlling document, unless it was previously submitted to the contracting office.

L1:(ii) Commercial product or commercial service exception. For a commercial product or commercial service exception, the

L0:Offeror shall submit, at a minimum, information that is adequate for determining commerciality and evaluating the

L0:reasonableness of the price for this acquisition, including prices at which the same product or service or similar products or

L0:services have been sold in the commercial market. Such information shall include?

L1:(A) For items previously determined to be commercial, the contract number and military department, defense agency, or

L0:other DoD component that rendered such determination, and if available, a Government point of contact;

L1:(B) For subsystems of a major weapon system and components and spare parts of a major weapon system or subsystem of

L0:a major weapon system that have not previously been determined to be commercial?

L1:(1) The comparable commercial product the Offeror sells to the general public or nongovernmental entities;

L1:(2) A comparison between the physical characteristics and functionality of the comparable commercial product and the

L0:subsystem, component, or spare part, including?

L1:(i) For products under paragraph (3)(i) of the "commercial product" definition at FAR 2.101, a description of the

L0:modification and documentation to support that the modification is customarily available in the marketplace; or

L1:(ii) For products under paragraph (3)(ii) of the "commercial product" definition at FAR 2.101, a detailed description of the

L0:modification and detailed technical data to demonstrate that the modification is minor (e.g., information on production

L0:processes and material differences); and

L1:(3) The national stock number (NSN) for the comparable commercial product, if one is assigned, and the NSN for the

L0:subsystem, component, or spare part, if one is assigned; or

L1:(4) If the Offeror does not sell a comparable commercial product to the general public or nongovernmental entities for

L0:purposes other than government purposes, the Offeror shall?

L1:(i) Notify the Contracting Officer in writing that it does not sell such a comparable product; and

L1:(ii) Provide the Contracting Officer with a comparison of the physical characteristics and functionality of the most

L0:comparable commercial product in the commercial market.

L1:(C) For items priced based on a catalog?

L1:(1) A copy of or identification of the Offeror's current catalog showing the price for that item; and

L1:(2) If the catalog pricing provided with this proposal is not consistent with all relevant sales data, a detailed description of

L0:differences or inconsistencies between or among the relevant sales data, the proposed price, and the catalog price

L0:(including any related discounts, refunds, rebates, offsets, or other adjustments);

L1:(D) For items priced based on market pricing, a description of the nature of the commercial market, the methodology used

L0:to establish a market price, and all relevant sales data. The description shall be adequate to permit DoD to verify the

L0:accuracy of the description;

L1:(E) For items included on an active Federal Supply Service Multiple Award Schedule contract, proof that an exception has

L0:been granted for the schedule item; or

L1:(F) For items provided by nontraditional defense contractors, a statement that the entity is not currently performing and has

L0:not performed, for at least the 1-year period preceding the solicitation of sources by DoD for the procurement or

L0:transaction, any contract or subcontract for DoD that is subject to full coverage under the cost accounting standards

L0:prescribed pursuant to 41 U.S.C. 1502 and the regulations implementing such section.

L1:(2) The Offeror grants the Contracting Officer or an authorized representative the right to examine, at any time before

L0:award, books, records, documents, or other directly pertinent records to verify any request for an exception under this

L0:provision, and to determine the reasonableness of price.

L1:(c) Requirements for certified cost or pricing data. If the Offeror is not granted an exception from the requirement to

L0:submit certified cost or pricing data, the following applies:

L1:(1) The Offeror shall prepare and submit certified cost or pricing data and supporting attachments in accordance with the

L0:instructions contained in Table 15-2 of FAR 15.408, which is incorporated by reference with the same force and effect as

L0:though it were inserted here in full text. The instructions in Table 15-2 are incorporated as a mandatory format to be used in

L0:any resultant contract, unless the Contracting Officer and the Offeror agree to a different format and change this provision

L0:to use Alternate I.

L1:(2) As soon as practicable after agreement on price, but before contract award (except for unpriced actions such as letter

L0:contracts), the Offeror shall submit a Certificate of Current Cost or Pricing Data, as prescribed by FAR 15.406-2.

L1:(3) The Offeror is responsible for determining whether a subcontractor qualifies for an exception from the requirement for

L0:submission of certified cost or pricing data on the basis of adequate price competition, i.e., two or more responsible

L0:offerors, competing independently, submit priced offers that satisfy the Government's expressed requirement in accordance

L0:with FAR 15.403-1(c)(1)(ii).

L1:(d) Requirements for data other than certified cost or pricing data.

L1:(1) Data other than certified cost or pricing data submitted in accordance with this provision shall include the minimum

L0:information necessary to permit a determination that the proposed price is fair and reasonable, to include the requirements

L0:in Defense Federal Acquisition Regulation Supplement (DFARS) 215.402(a)(i), 215.404-1(b), and 234.7002(e).

L1:(2) In cases in which uncertified cost data is required, the information shall be provided in the form in which it is regularly

L0:maintained by the Offeror or prospective subcontractor in its business operations.

L1:(3) If the Offeror redacts data that identifies the customer (see DFARS 234.7002(e)(2)), then the Offeror shall include, for

L0:each sale, the following signed statement with the data submitted:

L0:By submission of this data, the Offeror [Offeror insert company name] certifies that the customer was [Offeror insert one

L0:or more of the following as applicable: a government customer; a commercial customer purchasing the same or similar

L0:product for governmental purposes (e.g., Federal, state, local, or foreign government); or a commercial customer

L0:purchasing the same or similar product for a commercial, mixed, or unknown purpose].?

L1:(4) Within 10 days of a written request from the Contracting Officer for additional information to permit an adequate

L0:evaluation of the proposed price in accordance with FAR 15.403-3 or DFARS 234.7002(e), the Offeror shall provide either

L0:the requested information, or a written explanation for the inability to fully comply.

L1:(5) Subcontract price evaluation. (i) Offerors shall obtain from subcontractors the minimum information necessary to

L0:support a determination of price reasonableness, as described in FAR part 15 and DFARS part 215.

L1:(ii) No cost data may be required from a prospective subcontractor in any case in which there are sufficient nonGovernment sales of the same item to establish reasonableness of price.

L1:(iii) If the Offeror relies on relevant sales data for similar items to determine the price is reasonable, the Offeror shall

obtain

L0:only that technical information necessary (A) To support the conclusion that items are technically similar; and

L1:(B) To explain any technical differences that account for variances between the proposed prices and the sales data

L0:presented.

L1:(e) Subcontracts. The Offeror shall insert the substance of this provision, including this paragraph (e), in subcontracts

L0:exceeding the simplified acquisition threshold defined in FAR part 2. The Offeror shall require prospective subcontractors

L0:to adhere to the requirements of <https://www.acquisition.gov/node/36356/printable/print>

L1:(1) Paragraphs (c) and (d) of this provision for subcontracts above the threshold for submission of certified cost or pricing

L0:data in FAR 15.403-4; and

L1:(2) Paragraph (d) of this provision for subcontracts exceeding the simplified acquisition threshold defined in FAR part 2.

L0:(End of provision)

L0:Alternate I. As prescribed in 215.408(5)(i) and (5)(i)(B), use the following provision, which includes a different paragraph

L1:(c)(1).

L0:REQUIREMENTS FOR CERTIFIED COST OR PRICING DATA AND DATA OTHER THAN CERTIFIED COST OR
L0:PRICING DATA?ALTERNATE I (AUG 2024)

L1:(a) Definitions. As used in this provision?

L0:?Market prices? means current prices that are established in the course of ordinary trade between buyers and sellers free to

L0:bargain and that can be substantiated through competition or from sources independent of the offerors.

L0:?Non-Government sales? means sales of the supplies or services to non-Governmental entities for purposes other than

L0:governmental purposes.

L0:?Relevant sales data? means information provided by an offeror on sales of the same or similar items that can be used to

L0:establish price reasonableness taking into consideration the age, volume, and nature of the transactions (including any

L0:related discounts, refunds, rebates, offsets, or other adjustments).

L0:?Sufficient non-Government sales? means relevant sales data that reflects market pricing and contains enough information

L0:to make adjustments covered by Federal Acquisition Regulation (FAR) 15.404-1(b)(2)(ii)(B).

L0:?Uncertified cost data? means the subset of ?data other than certified cost or pricing data? (see FAR 2.101) that relates to

L0:cost.

L1:(b) Exceptions from certified cost or pricing data.

L1:(1) In lieu of submitting certified cost or pricing data, the Offeror may submit a written request for exception by submitting

L0:the information described in paragraphs (b)(1)(i) and (ii) of this provision. The Contracting Officer may require additional

L0:supporting information, but only to the extent necessary to determine whether an exception should be granted and whether

L0:the price is fair and reasonable.

L1:(i) Exception for price set by law or regulation - Identification of the law or regulation establishing the price offered. If the

L0:price is controlled under law by periodic rulings, reviews, or similar actions of a governmental body, attach a copy of the

L0:controlling document, unless it was previously submitted to the contracting office.

L1:(ii) Commercial product or commercial service exception. For a commercial product or commercial service exception, the

L0:Offeror shall submit, at a minimum, information that is adequate for determining commerciality and evaluating the

L0:reasonableness of the price for this acquisition, including prices at which the same product or service or similar products or

L0:services have been sold in the commercial market. Such information shall include?

L1:(A) For products or services previously determined to be commercial, the contract number and military department,

L0:defense agency, or other DoD component that rendered such determination, and if available, a Government point of

L0:contact;

L1:(B) For subsystems of a major weapon system and components and spare parts of a major weapon system or subsystem of

L0:a major weapon system that have not previously been determined to be commercial?

L1:(1) The comparable commercial product the Offeror sells to the general public or nongovernmental entities;

L1:(2) A comparison between the physical characteristics and functionality of the comparable commercial product and the

L0:subsystem, component, or spare part, including?

L1:(i) For products under paragraph (3)(i) of the "commercial product" definition at FAR 2.101, a description of the

L0:modification and documentation to support that the modification is customarily available in the marketplace; or

L1:(ii) For products under paragraph (3)(ii) of the "commercial product" definition at FAR 2.101, a detailed description of the

L0:modification and detailed technical data to demonstrate that the modification is minor (e.g., information on production

L0:processes and material differences); and

L1:(3) The national stock number (NSN) for the comparable commercial product, if one is assigned, and the NSN for the

L0:subsystem, component, or spare part; or

L1:(4) If the Offeror does not sell a comparable commercial product to the general public or nongovernmental entities for

L0:purposes other than government purposes, the Offeror shall?

L1:(i) Notify the Contracting Officer in writing that it does not sell such a comparable product; and

L1:(ii) Provide the Contracting Officer with a comparison of the physical characteristics and functionality of the most

L0:comparable commercial product in the commercial market.

L1:(C) For items priced based on a catalog?

L1:(1) A copy of or identification of the Offeror's current catalog showing the price for that item; and

L1:(2) If the catalog pricing provided with this proposal is not consistent with all relevant sales data, a detailed description of

L0:differences or inconsistencies between or among the relevant sales data, the proposed price, and the catalog price

L0:(including any related discounts, refunds, rebates, offsets, or other adjustments);

L1:(D) For items priced based on market pricing, a description of the nature of the commercial market, the methodology

used

L0:to establish a market price, and all relevant sales data. The description shall be adequate to permit DoD to verify the L0:accuracy of the description;

L1:(E) For items included on an active Federal Supply Service Multiple Award Schedule contract, proof that an exception has

L0:been granted for the schedule item; or

L1:(F) For items provided by nontraditional defense contractors, a statement that the entity is not currently performing and has

L0:not performed, for at least the 1-year period preceding the solicitation of sources by DoD for the procurement or

L0:transaction, any contract or subcontract for DoD that is subject to full coverage under the cost accounting standards

L0:prescribed pursuant to 41 U.S.C. 1502 and the regulations implementing such section.

L1:(2) The Offeror grants the Contracting Officer or an authorized representative the right to examine, at any time before

L0:award, books, records, documents, or other directly pertinent records to verify any request for an exception under this

L0:provision, and to determine the reasonableness of price.

L1:(c) Requirements for certified cost or pricing data. If the Offeror is not granted an exception from the requirement to

L0:submit certified cost or pricing data, the following applies:

L1:(1) The Offeror shall submit certified cost or pricing data and supporting attachments in the following format: [Insert

L0:description of the data and format that are required, and include access to records necessary to permit an adequate

L0:evaluation of the proposed price in accordance with FAR 15.408, Table 15-2, Note 2. The Contracting Officer shall insert

L0:the description at the time of issuing the solicitation or specify that the format regularly maintained by the offeror or

L0:prospective subcontractor in its business operations will be acceptable. The Contracting Officer may amend the

L0:description as the result of negotiations.]

L1:(2) As soon as practicable after agreement on price, but before contract award (except for unpriced actions such as letter

L0:contracts), the Offeror shall submit a Certificate of Current Cost or Pricing Data, as prescribed by FAR 15.406-2.

L1:(3) The Offeror is responsible for determining whether a subcontractor qualifies for an exception from the requirement for

L0:submission of certified cost or pricing data on the basis of adequate price competition, i.e., two or more responsible

L0:offerors, competing independently, submit priced offers that satisfy the Government's expressed requirement in accordance

L0:with FAR 15.403-1(c)(1)(ii).

L1:(d) Requirements for data other than certified cost or pricing data.

L1:(1) Data other than certified cost or pricing data submitted in accordance with this provision shall include all data necessary

L0:to permit a determination that the proposed price is fair and reasonable, to include the requirements in Defense Federal

L0:Acquisition Regulation Supplement (DFARS) 215.402(a)(i), 215.404-1(b), and 234.7002(e).

L1:(2) In cases in which uncertified cost data is required, the information shall be provided in the form in which it is regularly

L0:maintained by the Offeror or prospective subcontractor in its business operations.

L1:(3) If the Offeror redacts data that identifies the customer (see DFARS 234.7002(e)(2)), then the Offeror shall include, for

L0:each sale, the following signed statement with the data submitted:

L0:By submission of this data, the Offeror [Offeror insert company name] certifies that the customer was [Offeror insert one

L0:or more of the following as applicable: a government customer (e.g., Federal, state, local, or foreign government) ; a

L0:commercial customer purchasing the same or similar product for governmental purposes; or a commercial customer

L0:purchasing the same or similar product for a commercial, mixed, or unknown purpose].?

L1:(4) The Offeror shall provide information described as follows: [Insert description of the data and the format that are

L0:required, including access to records necessary to permit an adequate evaluation of the proposed price in accordance with

L0:FAR 15.403-3 or DFARS 234.7002(e)].

L1:(5) Within 10 days of a written request from the Contracting Officer for additional information to support proposal

L0:analysis, the Offeror shall provide either the requested information, or a written explanation for the inability to fully

L0:comply.

L1:(6) Subcontract price evaluation.

L1:(i) Offerors shall obtain from subcontractors the information necessary to support a determination of price reasonableness,

L0:as described in FAR part 15 and DFARS part 215.

L1:(ii) No cost information may be required from a prospective subcontractor in any case in which there are sufficient nonGovernment sales of the same item to establish reasonableness of price.

L1:(iii) If the Offeror relies on relevant sales data for similar items to determine the price is reasonable, the Offeror shall obtain

L0:only that technical information necessary?

L1:(A) To support the conclusion that items are technically similar; and

L1:(B) To explain any technical differences that account for variances between the proposed prices and the sales data

L0:presented.

L1:(e) Subcontracts. The Offeror shall insert the substance of this provision, including this paragraph (e), in all subcontracts

L0:exceeding the simplified acquisition threshold defined in FAR part 2. The Offeror shall require prospective subcontractors

L0:to adhere to the requirements of?

L1:(1) Paragraph (c) and (d) of this provision for subcontracts above the threshold for submission of certified cost or pricing

L0:data in FAR 15.403-4; and

L1:(2) Paragraph (d) of this provision for subcontracts exceeding the simplified acquisition threshold defined in FAR part 2.

L0:(End of provision)

252.215-7011 Requirements for Submission of Proposals to the Administrative Contracting Officer and Contract

Status: active

L0:252.215-7011 Requirements for Submission of Proposals to the Administrative Contracting Officer and Contract

L0:Auditor.

L0:As prescribed in 215.408 (5)(ii), use the following provision:

L0:REQUIREMENTS FOR SUBMISSION OF PROPOSALS TO THE ADMINISTRATIVE CONTRACTING OFFICER
L0:AND CONTRACT AUDITOR (JAN 2018)

L0:When the proposal is submitted, the Offeror shall also submit one copy each to?

L1:(a) The Administrative Contracting Officer; and

L1:(b) The Contract Auditor.

L0:(End of provision)

252.215-7012 Requirements for Submission of Proposals via Electronic Media

Status: active

L0:252.215-7012 Requirements for Submission of Proposals via Electronic Media.

L0:As prescribed in 215.408 (5)(iii), use the following provision:

L0:REQUIREMENTS FOR SUBMISSION OF PROPOSALS VIA ELECTRONIC MEDIA (JAN 2018)

L0:The Offeror shall submit the cost portion of the proposal via the following electronic media: [Insert media format, e.g.,

L0:electronic spreadsheet format, electronic mail, etc.]

L0:(End of provision)

252.215-7013 Supplies and Services Provided by Nontraditional Defense Contractors

Status: active

L0:252.215-7013 Supplies and Services Provided by Nontraditional Defense Contractors.

L0:As prescribed in 215.408 (6), use the following provision:

L0:SUPPLES AND SERVICES PROVIDED BY NONTRADITIONAL DEFENSE CONTRACTORS (JAN 2023)

L0:Offerors are advised that in accordance with 10 U.S.C. 3457, supplies and services provided by a nontraditional defense

L0:contractor, as defined in DFARS 202.101 , may be treated as commercial products or commercial services. The decision to

L0:apply commercial product or commercial service procedures to the procurement of supplies and services from a

L0:nontraditional defense contractor does not require a commercial product or commercial service determination and does not

L0:mean the supplies or services are commercial.

L0:(End of provision)

252.215-7014 Exception from Certified Cost or Pricing Data Requirements for Foreign Military Sales Indirect

Status: active

L0:252.215-7014 Exception from Certified Cost or Pricing Data Requirements for Foreign Military Sales Indirect

L0:Offsets.

L0:As prescribed in 215.408 (8), use the following clause:

L0:EXCEPTION FROM CERTIFIED COST OR PRICING DATA REQUIREMENTS FOR FOREIGN MILITARY SALES

L0:INDIRECT OFFSETS (JUN 2018)

L1:(a) Definition. As used in this clause?

L0:Offset? means a benefit or obligation agreed to by a contractor and a foreign government or international organization as

L0:an inducement or condition to purchase supplies or services pursuant to a foreign military sale (FMS). There are two types

L0:of offsets: direct offsets and indirect offsets.

L1:(1) A direct offset involves benefits or obligations, including supplies or services that are directly related to the item being

L0:purchased and are integral to the deliverable of the FMS contract. For example, as a condition of a foreign military sale, the

L0:contractor may require or agree to permit the customer to produce in its country certain components or subsystems of the

L0:item being sold. Generally, direct offsets must be performed within a specified period, because they are integral to the

L0:deliverable of the FMS contract.

L1:(2) An indirect offset involves benefits or obligations, including supplies or services that are not directly related to the L0:specific item(s) being purchased and are not integral to the deliverable of the FMS contract. For example, as a condition of

L0:a foreign military sale, the contractor may agree to purchase certain manufactured products, agricultural commodities, raw

L0:materials, or services, or make an equity investment or grant of equipment required by the FMS customer, or may agree to

L0:build a school, road or other facility. Indirect offsets would also include projects that are related to the FMS contract but not

L0:purchased under said contract (e.g., a project to develop or advance a capability, technology transfer, or know-how in a

L0:foreign company). Indirect offsets may be accomplished without a clearly defined period of performance.

L1:(b) Exceptions from certified cost or pricing data requirements. Notwithstanding the requirements of Federal Acquisition

L0:Regulation (FAR) 52.215-20, Requirements for Certified Cost or Pricing Data and Data Other Than Certified Cost or L0:Pricing Data, in the case of this contract or a subcontract, and FAR 52.215-21, Requirements for Certified Cost or Pricing

L0:Data and Data Other Than Certified Cost or Pricing Data?Modifications, in the case of modification of this contract or a

L0:subcontract, submission of certified cost or pricing data shall not be required to the extent such data relates to an indirect

L0:offset (10 U.S.C. 3703(a)(4)).

L0:(End of clause)

252.215-7015 Program Should-Cost Review

Status: active

L0:252.215-7015 Program Should-Cost Review.

L0:As prescribed in 215.408 (8), use the following clause:

L0:PROGRAM SHOULD-COST REVIEW (NOV 2019)

L1:(a) The Government has the right to perform a program should-cost review, as described in Federal Acquisition Regulation

L1:(FAR) 15.407-4(b). The review may be conducted in support of a particular contract proposal or during contract

L0:performance to find opportunities to reduce program costs. The Government will communicate the elements of the

L0:proposed should-cost review to the prime contractor (Pub. L. 115-91).

L1:(b) If the Government performs a program should-cost review, upon the Government's request, the Contractor shall provide

L0:access to accurate and complete cost data and Contractor facilities and personnel necessary to permit the Government to

L0:perform the program should-cost review.

L1:(c) The Government has the right to use third-party experts to supplement the program should-cost review team. The

L0:Contractor shall provide access to the Contractor's facilities and information necessary to support the program should-cost

L0:review to any third-party experts who have signed nondisclosure agreements in accordance with the FAR 52.203-16.

L0:(End of clause)

252.215-7016 Notification to Offerors?Postaward Debriefings

Status: active

L0:252.215-7016 Notification to Offerors?Postaward Debriefings.

L0:As prescribed in 215.570, use the following provision:

L0:NOTIFICATION TO OFFERORS?POSTAWARD DEBRIEFINGS (OCT 2025)

L1:(a) Definition. As used in this provision?

L0:" Nontraditional defense contractor " means an entity that is not currently performing and has not performed any contract

L0:or subcontract for DoD that is subject to full coverage under the cost accounting standards prescribed pursuant to 41 U.S.C.

L0:1502 and the regulations implementing such section, for at least the 1-year period preceding the solicitation of sources by

L0:DoD for the procurement (10 U.S.C. 3014).

L1:(b) Postaward debriefing.

L1:(1) Upon timely request, the Government will provide a written or oral postaward debriefing to successful or unsuccessful

L0:offerors for contract awards valued at \$15 million or more, while protecting the confidential and proprietary information of

L0:other offerors. The request is considered timely if received within 3 days of notification of contract award.

L1:(2) When required, the minimum postaward debriefing information will include the following:

L1:(i) For contracts in excess of \$15 million and not in excess of \$150 million with a small business or nontraditional defense

L0:contractor, an option for the small business or nontraditional defense contractor to request disclosure of the

agency?s

L0:written source selection decision document, redacted to protect the confidential and proprietary information of other
L0:offerors for the contract award.

L1:(ii) For contracts in excess of \$150 million, disclosure of the agency?s written source selection decision document,
redacted

L0:to protect the confidential and proprietary information of other offerors for the contract award.

L1:(3) If a required postaward debriefing is provided?

L1:(i) The debriefed Offeror may submit additional written questions related to the debriefing not later than 2 business
days

L0:after the date of the debriefing;

L1:(ii) The agency will respond in writing to timely submitted additional questions within 5 business days after receipt by
the

L0:contracting officer; and

L1:(iii) The postaward debriefing will not be considered to be concluded until the later of?

L1:(A) The date that the postaward debriefing is delivered, orally or in writing; or

L1:(B) If additional written questions related to the debriefing are timely received, the date the agency delivers its written
L0:response.

L1:(c) Contract performance. The Government may suspend performance of or terminate the awarded contract upon
notice

L0:from the Government Accountability Office of a protest filed within the time periods listed in paragraphs (c)(1)
through (3)

L0:of this provision, whichever is later:

L1:(1) Within 10 days after the date of contract award.

L1:(2) Within 5 days after a debriefing date offered to the protestor under a timely debriefing request in accordance with
L0:Federal Acquisition Regulation (FAR) 15.506 unless an earlier debriefing date is negotiated as a result.

L1:(3) Within 5 days after a postaward debriefing under FAR 15.506 is concluded in accordance with Defense Federal
L0:Acquisition Regulation Supplement 215.506-70 (b).

L0:(End of provision)

252.216-7000 Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products

Status: active

L0:252.216-7000 Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products.

L0:As prescribed in 216.203-4 -70(a)(1), use the following clause:

L0:ECONOMIC PRICE ADJUSTMENT?BASIC STEEL, ALUMINUM, BRASS, BRONZE, OR COPPER MILL

L0:PRODUCTS (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?Established price? means a price which is an established catalog or market price for a commercial product sold in
L0:substantial quantities to the general public.

L0:?Unit price? excludes any part of the price which reflects requirements for preservation, packaging, and packing
beyond

L0:standard commercial practice.

L1:(b) As represented by the Contractor in its offer, the unit price stated for _____(Identify the item)

is not

L0:in excess of the Contractor's established price in effect on the date set for opening of bids (or the contract date if this is a

L0:negotiated contract) for like quantities of the same item. This price is the net price after applying any applicable standard

L0:trade discounts offered by the Contractor from its catalog, list, or schedule price.

L1:(c) The Contractor shall promptly notify the Contracting Officer of the amount and effective date of each decrease in any

L0:established price.

L1:(1) Each corresponding contract unit price shall be decreased by the same percentage that the established price is

L0:decreased.

L1:(2) This decrease shall apply to items delivered on or after the effective date of the decrease in the Contractor's established

L0:price.

L1:(3) This contract shall be modified accordingly.

L1:(d) If the Contractor's established price is increased after the date set for opening of bids (or the contract date if this is a

L0:negotiated contract), upon the Contractor's written request to the Contracting Officer, the corresponding contract unit price

L0:shall be increased by the same percentage that the established price is increased, and this contract shall be modified

L0:accordingly, provided?

L1:(1) The aggregate of the increases in any contract unit price under this contract shall not exceed 10 percent of the original

L0:contract unit price;

L1:(2) The increased contract unit price shall be effective on the effective date of the increase in the applicable established

L0:price if the Contractor's written request is received by the Contracting Officer within ten days of the change. If it is not, the

L0:effective date of the increased unit price shall be the date of receipt of the request by the Contracting Officer; and

L1:(3) The increased contract unit price shall not apply to quantities scheduled for delivery before the effective date of the

L0:increased contract unit price unless the Contractor's failure to deliver before that date results from causes beyond the

L0:control and without the fault or negligence of the Contractor, within the meaning of the Default clause of this contract.

L1:(4) The Contracting Officer shall not execute a modification incorporating an increase in a contract unit price under this

L0:clause until the increase is verified.

L1:(e) Within 30 days after receipt of the Contractor's written request, the Contracting Officer may cancel, without liability to

L0:either party, any portion of the contract affected by the requested increase and not delivered at the time of such

L0:cancellation, except as follows?

L1:(1) The Contractor may, after that time, deliver any items that were completed or in the process of manufacture at the time

L0:of receipt of the cancellation notice, provided the Contractor notifies the Contracting Officer of such items within 10 days

L0:after the Contractor receives the cancellation notice.

L1:(2) The Government shall pay for those items at the contract unit price increased to the extent provided by paragraph (d) of

L0:this clause.

L1:(3) Any standard steel supply item shall be deemed to be in the process of manufacture when the steel for that item is in the

L0:state of processing after the beginning of the furnace melt.

L1:(f) Pending any cancellation of this contract under paragraph (e) of this clause, or if there is no cancellation, the Contractor

L0:shall continue deliveries according to the delivery schedule of the contract. The Contractor shall be paid for those

L0:deliveries at the contract unit price increased to the extent provided by paragraph (d) of this clause.

L0:(End of clause)

252.216-7001 Economic Price Adjustment-Nonstandard Steel Items

Status: active

L0:252.216-7001 Economic Price Adjustment-Nonstandard Steel Items.

L0:As prescribed in 216.203-4 -70(b), use the following clause:

L0:ECONOMIC PRICE ADJUSTMENT?NONSTANDARD STEEL ITEMS (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?Base labor index? means the average of the labor indices for the three months which consist of the month of bid opening

L0:(or offer submission) and the months immediately preceding and following that month.

L0:?Base steel index? means the Contractor's established price (see Note 6) including all applicable extras of \$_____ per

L0:_____ (see Note 1) for _____ (see Note 2) on the date set for bid opening (or the date of submission

L0:of the offer).

L0:?Current labor index? means the average of the labor indices for the month in which delivery of supplies is required to be

L0:made and the month preceding.

L0:?Current steel index? means the Contractor's established price (see Note 6) for that item, including all applicable extras in

L0:effect ____ days (see Note 3) prior to the first day of the month in which delivery is required.

L0:?Established price? is?

L1:(1) A price which is an established catalog or market price of a commercial product sold in substantial quantities to the

L0:general public; and

L1:(2) The net price after applying any applicable standard trade discounts offered by the Contractor from its catalog, list, or

L0:schedule price. (But see Note 6.)

L0:?Labor index? means the average straight time hourly earnings of the Contractor's employees in the _____

shop of

L0:the Contractor's _____ plant (see Note 4) for any particular month.

L0: "Month" means calendar month. However, if the Contractor's accounting period does not coincide with the calendar month,

L0:then that accounting period shall be used in lieu of "month".

L1:(b) Each contract unit price shall be subject to revision, under the terms of this clause, to reflect changes in the cost of labor

L0:and steel. For purpose of this price revision, the proportion of the contract unit price attributable to costs of labor not otherwise included in the price of the steel item identified under the "base steel index" definition in paragraph (a) shall be

L0:_____ percent, and the proportion of the contract unit price attributable to the cost of steel shall be _____ percent. (See

L0:Note 5.)

L1:(c)(1) Unless otherwise specified in this contract, the labor index shall be computed by dividing the total straight time earnings of the Contractor's employees in the shop identified in paragraph (a) for any given month by the total number of

L0:straight time hours worked by those employees in that month.

L1:(2) Any revision in a contract unit price to reflect changes in the cost of labor shall be computed solely by reference to the

L0:"base labor index" and the "current labor index".

L1:(d) Any revision in a contract unit price to reflect changes in the cost of steel shall be computed solely by reference to the

L0:"base steel index" and the "current steel index".

L1:(e)(1) Each contract unit price shall be revised for each month in which delivery of supplies is required to be made.

L1:(2) The revised contract unit price shall apply to the deliveries of those quantities required to be made in that month regardless of when actual delivery is made.

L1:(3) Each revised contract unit price shall be computed by adding?

L1:(i) The adjusted cost of labor (obtained by multiplying _____ percent of the contract unit price by a fraction, of which the

L0:numerator shall be the current labor index and the denominator shall be the base labor index);

L1:(ii) The adjusted cost of steel (obtained by multiplying _____ percent of the contract unit price by a fraction, of which the

L0:numerator shall be the current steel index and the denominator shall be the base steel index); and

L1:(iii) The amount equal to _____ percent of the original contract unit price (representing that portion of the unit price which

L0:relates neither to the cost of labor nor the cost of steel, and which is therefore not subject to revision (see Note 5)).

L1:(4) The aggregate of the increases in any contract unit price under this contract shall not exceed ten percent of the original

L0:contract unit price.

L1:(5) Computations shall be made to the nearest one-hundredth of one cent.

L1:(f)(1) Pending any revisions of the contract unit prices, the Contractor shall be paid the contract unit price for deliveries

L0:made.

L1:(2) Within 30 days after final delivery (or such other period as may be authorized by the Contracting Officer), the

L0:Contractor shall furnish a statement identifying the correctness of?

L1:(i) The average straight time hourly earnings of the Contractor's employees in the shop identified in paragraph (a) that are

L0:relevant to the computations of the "base labor index" and the "current labor index;" and

L1:(ii) The Contractor's established prices (see Note 6), including all applicable extras for like quantities of the item that are

L0:relevant to the computation of the "base steel index" and the "current steel index."

L1:(3) Upon request of the Contracting Officer, the Contractor shall make available all records used in the computation of the

L0:labor indices.

L1:(4) Upon receipt of the statement, the Contracting Officer will compute the revised contract unit prices and modify the

L0:contract accordingly. No modification to this contract will be made pursuant to this clause until the Contracting Officer has

L0:verified the revised established price (see Note 6).

L1:(g)(1) In the event any item of this contract is subject to a total or partial termination for convenience, the month in which

L0:the Contractor receives notice of the termination, if prior to the month in which delivery is required, shall be considered the

L0:month in which delivery of the terminated item is required for the purposes of determining the current labor and steel

L0:indices under paragraphs (c) and (d).

L1:(2) For any item which is not terminated for convenience, the month in which delivery is required under the contract shall

L0:continue to apply for determining those indices with respect to the quantity of the non-terminated item.

L1:(3) If this contract is terminated for default, any price revision shall be limited to the quantity of the item which has been

L0:delivered by the Contractor and accepted by the Government prior to receipt by the Contractor of the notice of termination.

L1:(h) If the Contractor's failure to make delivery of any required quantity arises out of causes beyond the control and without

L0:the fault or negligence of the Contractor, within the meaning of the clause of this contract entitled "Default," the quantity

L0:not delivered shall be delivered as promptly as possible after the cessation of the cause of the failure, and the delivery

L0:schedule set forth in this contract shall be amended accordingly.

L0:NOTES:

L0:1 Offeror insert the unit price and unit measure of the standard steel mill item to be used in the manufacture of the contract

L0:item.

L0:2 Offeror identify the standard steel mill item to be used in the manufacture of the contract item.

L0:3 Offeror insert best estimate of the number of days required for processing the standard steel mill item in the shop

L0:identified under the "labor index" definition.

L0:4 Offeror identify the shop and plant in which the standard steel mill item identified under the "base steel index" definition

L0:will be finally fabricated or processed into the contract item.

L0:5 Offeror insert the same percentage figures for the corresponding blanks in paragraphs (b), (e)(3)(i), and (e)(3)(ii).

In

L0:paragraph (e)(3)(iii), insert the percentage representing the difference between the sum of the percentages inserted in

L0:paragraph (b) and 100 percent.

L0:6 In negotiated acquisitions of nonstandard steel items, when there is no ?established price? or when it is not desirable to

L0:use this price, this paragraph may refer to another appropriate price basis, e.g., an established interplant price.

L0:(End of clause)

252.216-7002 Alternate A, Time-and-Materials/Labor-Hour Proposal Requirements - Other Than Commercial

Status: active

L0:252.216-7002 Alternate A, Time-and-Materials/Labor-Hour Proposal Requirements - Other Than Commercial

L0:Acquisition with Adequate Price Competition.

L0:As prescribed in 216.601 (e), substitute the following paragraph (c) for paragraph (c) of the provision at FAR 52.216-29:

L0:ALTERNATE A, TIME-AND-MATERIALS/LABOR-HOUR PROPOSAL REQUIREMENTS?OTHER THAN

L0:COMMERCIAL ITEM ACQUISITION WITH ADEQUATE PRICE COMPETITION (JAN 2023)

L1:(c) The offeror must establish fixed hourly rates using separate rates for each category of labor to be performed by each

L0:subcontractor and for each category of labor to be performed by the offeror, and for each category of labor to be transferred

L0:between divisions, subsidiaries, or affiliates of the offeror under a common control.

252.216-7003 Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government

Status: active

L0:252.216-7003 Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government.

L0:As prescribed in 216.203-4-70(c)(1), use the following clause:

L0:Economic Price Adjustment - Wage Rates or Material Prices Controlled by a Foreign Government (MAR 2012)

L1:(a) As represented by the Contractor in its offer, the prices set forth in this contract <https://www.acquisition.gov/node/36356/printable/print>

L1:(1) Are based on the wage rates or material prices established and controlled by the government of the country specified by

L0:the Contractor in its offer; and

L1:(2) Do not include contingency allowances to pay for possible increases in wage rates or material prices.

L1:(b) If wage rates or material prices are revised by the government named in paragraph (a) of this clause, the Contracting

L0:Officer shall make an equitable adjustment in the contract price and shall modify the contract to the extent that the

L0:Contractor's actual costs of performing this contract are increased or decreased, as a direct result of the revision, subject to

L0:the following:

L1:(1) For increases in established wage rates or material prices, the increase in contract unit price(s) shall be effective on the

L0:same date that the government named in paragraph (a) of this clause increased the applicable wage rate(s) or material

L0:price(s), but only if the Contracting Officer receives the Contractor's written request for contract adjustment within 10 days

L0:of the change. If the Contractor's request is received later, the effective date shall be the date that the Contracting Officer

L0:received the Contractor's request.

L1:(2) For decreases in established wage rates or material prices, the decrease in contract unit price(s) shall be effective on the

L0:same date that the government named in paragraph (a) of this clause decreased the applicable wage rate(s) or material

L0:price(s). The decrease in contract unit price(s) shall apply to all items delivered on and after the effective date of the L0:government's rate or price decrease.

L1:(c) No modification changing the contract unit price(s) shall be executed until the Contracting Officer has verified the L0:applicable change in the rates or prices set by the government named in paragraph (a) of this clause. The Contractor shall

L0:make available its books and records that support a requested change in contract price.

L1:(d) Failure to agree to any adjustment shall be a dispute under the Disputes clause of this contract.

L0:(End of clause)

252.216-7004 Award Fee Reduction or Denial for Jeopardizing the Health or Safety of Government Personnel

Status: active

L0:252.216-7004 Award Fee Reduction or Denial for Jeopardizing the Health or Safety of Government Personnel.

L0:As prescribed in 216.406 (e), use the following clause:

L0:AWARD FEE REDUCTION OR DENIAL FOR JEOPARDIZING THE HEALTH OR SAFETY OF GOVERNMENT

L0:PERSONNEL (SEP 2011)

L1:(a) Definitions. As used in this clause?

L0:Covered incident?-

L1:(i) Means any incident in which the Contractor, through a criminal, civil, or administrative proceeding that results in a L0:disposition listed in paragraph (a) (ii) of this definition -

L1:(A) Has been determined in the performance of this contract to have caused serious bodily injury or death of any civilian or

L0:military personnel of the Government through gross negligence or with reckless disregard for the safety of such personnel;

L0:or

L1:(B) Has been determined to be liable for actions of a subcontractor of the Contractor that caused serious bodily injury or

L0:death of any civilian or military personnel of the Government through gross negligence or with reckless disregard for the

L0:safety of such personnel.

L1:(ii) Includes those incidents that have resulted in any of the following dispositions:

L1:(A) In a criminal proceeding, a conviction.

L1:(B) In a civil proceeding, a finding of fault or liability that results in the payment of a monetary fine, penalty,

L0:reimbursement, restitution, or damage of \$5,000 or more.

L1:(C) In an administrative proceeding, a finding of fault and liability that results in-

L1:(1) The payment of a monetary fine or penalty of \$5,000 or more; or

L1:(2) The payment of a reimbursement, restitution, or damages in excess of \$100,000.

L1:(D) In a criminal, civil, or administrative proceeding, a disposition of the matter by consent or compromise with an

L0:acknowledgment of fault by the Contractor if the proceeding could have led to any of the outcomes specified in

L0:subparagraphs (a)(ii)(A), (a) (ii)(B), or (a)(ii)(C).

L1:(E) In a DoD investigation of the Contractor or its subcontractors at any tier not subject to the jurisdiction of the U.S.

L0:courts, a final determination by the Secretary of Defense of Contractor or subcontractor fault (see DFARS 216.405-2-70).

L0:Serious bodily injury? means a grievous physical harm that results in a permanent disability.

L1:(b) If, in the performance of this contract, the Contractor?s or its subcontractor?s actions cause serious bodily injury or

L0:death of civilian or military Government personnel, the Government may reduce or deny the award fee for the relevant

L0:award fee period in which the covered incident occurred, including the recovery of all or part of any award fees paid for

L0:any previous period during which the covered incident occurred.

L0:(End of clause)

252.216-7007 Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products?

Status: active

L0:252.216-7007 Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products?

L0:Representation.

L0:As prescribed in 216.203-4 -70(a)(2), use the following provision:

L0:ECONOMIC PRICE ADJUSTMENT?BASIC STEEL, ALUMINUM, BRASS, BRONZE, OR COPPER MILL

L0:PRODUCTS?REPRESENTATION (MAR 2012)

L1:(a) Definitions. The terms ?established price? and ?unit price,? as used in this provision, have the meaning given in the

L0:clause 252.216-7000 , Economic Price Adjustment?Basic Steel, Aluminum, Brass, Bronze, or Copper Mill Products.

L1:(b) By submission of its offer, the offeror represents that the unit price stated in this offer for

L0:_____ (Identify the item) is not in excess of the offeror?s established price in effect on the date set for

L0:opening of bids (or the contract date if this is to be a negotiated contract) for like quantities of the same item. This price is

L0:the net price after applying any applicable standard trade discounts offered by the offeror from its catalog, list, or schedule

L0:price.

L0:(End of provision)

252.216-7008 Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government?

Status: active

L0:252.216-7008 Economic Price Adjustment?Wage Rates or Material Prices Controlled by a Foreign Government?

L0:Representation.

L0:As prescribed in 216.203-4 -70(c)(2), use the following provision:

L0:ECONOMIC PRICE ADJUSTMENT?WAGE RATES OR MATERIAL PRICES CONTROLLED BY A FOREIGN

L0:GOVERNMENT?REPRESENTATION (MAR 2012)

L1:(a) By submission of its offer, the offeror represents that the prices set forth in this offer?

L1:(1) Are based on the wage rate(s) or material price(s) established and controlled by the government of

L0:_____ (Offeror insert name of host country); and

L1:(2) Do not include contingency allowances to pay for possible increases in wage rates or material prices.

L0:(End of provision)

252.216-7009 Allowability of Legal Costs Incurred in Connection With a Whistleblower Proceeding

Status: active

L0:252.216-7009 Allowability of Legal Costs Incurred in Connection With a Whistleblower Proceeding.

L0:As prescribed in 216.307 (a), use the following clause:

L0:ALLOWABILITY OF LEGAL COSTS INCURRED IN CONNECTION WITH A WHISTLEBLOWER PROCEEDING

L0:(DEC 2022)

L0:Pursuant to 10 U.S.C. 3750, notwithstanding FAR clause 52.216-7, Allowable Cost and Payment?

L1:(a) The restrictions of FAR 31.205-47(b) on allowability of costs related to legal and other proceedings also apply to any

L0:proceeding brought by a contractor employee submitting a complaint under 10 U.S.C. 4701, entitled ?Contractor

L0:employees: protection from reprisal for disclosure of certain information;? and

L1:(b) Costs incurred in connection with a proceeding that is brought by a contractor employee submitting a complaint under

L0:10 U.S.C. 4701 are also unallowable if the result is an order to take corrective action under 10 U.S.C. 4701.

L0:(End of clause)

252.216-7010 Postaward Debriefings for Task Orders and Delivery Orders

Status: active

L0:252.216-7010 Postaward Debriefings for Task Orders and Delivery Orders.

L0:As prescribed at 216.506-70 (b), use the following clause:

L0:POSTAWARD DEBRIEFINGS FOR TASK ORDERS AND DELIVERY ORDERS (OCT 2025)

L1:(a) Postaward debriefing .

L1:(1) Upon timely request, the Government will provide a written or oral postaward debriefing for task orders or delivery

L0:orders valued at \$15 million or more to the Contractor, regardless of whether the Contractor's offer for the task order or

L0:delivery order was successful or unsuccessful, while protecting the confidential and proprietary information of other

L0:contractors. The request is considered timely if received within 3 days of notification of task order or delivery order award.

L1:(2) If a required postaward debriefing is provided?

L1:(i) The debriefed Contractor may submit additional written questions related to the required and provided debriefing within

L0:2 business days after the date of the debriefing;

L1:(ii) The agency will respond in writing to timely submitted additional questions within 5 business days after receipt; and

L1:(iii) The postaward debriefing will not be considered to be concluded until the later of?

L1:(A) The date that the postaward debriefing is delivered, orally or in writing; or

L1:(B) If additional written questions related to the debriefing are timely received, the date the agency delivers its written L0:response.

L1:(b) Task order or delivery order performance . The Government may suspend performance of or terminate the awarded

L0:task order or delivery order upon notice from the Government Accountability Office of a protest filed within the time

L0:periods listed in paragraphs (b)(1) through (3) of this clause, whichever is later:

L1:(1) Within 10 days after the date a task order or delivery order is issued, where the value exceeds \$25 million (10 U.S.C.

L0:3406(e)).

L1:(2) Within 5 days after a debriefing date offered to the protestor under a timely debriefing request in accordance with

L0:Federal Acquisition Regulation (FAR) 15.506 unless an earlier debriefing date is negotiated as a result.

L1:(3) Within 5 days after a postaward debriefing under FAR 15.506 is concluded in accordance with Defense Federal

L0:Acquisition Regulation Supplement 215.506-70 (b).

L0:(End of clause)

252.217-7000 Exercise of Option to Fulfill Foreign Military Sales Commitments

Status: active

L0:252.217-7000 Exercise of Option to Fulfill Foreign Military Sales Commitments.

L0:Basic. As prescribed in 217.208-70 (a) and (a)(1), use the following clause:

L0:EXERCISE OF OPTION TO FULFILL FOREIGN MILITARY SALES COMMITMENTS?BASIC (NOV 2014)

L1:(a) The Government may exercise the option(s) of this contract to fulfill foreign military sales commitments.

L1:(b) The foreign military sales commitments are for:

L0:(Insert name of country)

L0:(Insert applicable CLIN)

L0:(End of clause)

L0:Alternate I.As prescribed in 217.208-70 (a) and (a)(2), use the following clause, which uses a different paragraph (b) than

L0:paragraph (b) of the basic clause:

L0:EXERCISE OF OPTION TO FULFILL FOREIGN MILITARY SALES COMMITMENTS?ALTERNATE I (NOV 2014)

L1:(a) The Government may exercise the option(s) of this contract to fulfill foreign military sales commitments.

L1:(b) On the date the option is exercised, the Government shall identify the foreign country for the purpose of negotiating any

L0:equitable adjustment attributable to foreign military sales. Failure to agree on an equitable adjustment shall be treated as a

L0:dispute under the Disputes clause of this contract.

L0:(End of clause)

252.217-7001 Surge Option

Status: active

L0:252.217-7001 Surge Option.

L0:As prescribed in 217.208-70 (b), use the following clause:

L0:SURGE OPTION (DEC 2018)

L1:(a) General. The Government has the option to?

L1:(1) Increase the quantity of supplies or services called for under this contract by no more than ____ percent or

L0:_____ [insert quantity and description of services or supplies to be increased]; and/or

L1:(2) Accelerate the rate of delivery called for under this contract, at a price or cost established before contract award or to be

L0:established by negotiation as provided in this clause.

L1:(b) Schedule.

L1:(1) When the Capabilities Analysis Plan (CAP) is included in the contract, the option delivery schedule shall be the

L0:production rate provided with the Plan. If the Plan was negotiated before contract award, then the negotiated schedule shall

L0:be used.

L1:(2) If there is no CAP in the contract, the Contractor shall, within 30 days from the date of award, furnish the Contracting

L0:Officer a delivery schedule showing the maximum sustainable rate of delivery for items in this contract. This delivery

L0:schedule shall provide acceleration by month up to the maximum sustainable rate of delivery achievable within the

L0:Contractor's existing facilities, equipment, and subcontracting structure.

L1:(3) The Contractor shall not revise the option delivery schedule without approval from the Contracting Officer.

L1:(c) Exercise of option.

L1:(1) The Contracting Officer may exercise this option at any time before acceptance by the Government of the final

L0:scheduled delivery.

L1:(2) The Contracting Officer will provide a preliminary oral or written notice to the Contractor stating the quantities to be

L0:added or accelerated under the terms of this clause, followed by a contract modification incorporating the transmitted

L0:information and instructions. The notice and modification will establish a not-to-exceed price equal to the highest contract

L0:unit price or cost of the added or accelerated items as of the date of the notice.

L1:(3) The Contractor will not be required to deliver at a rate greater than the maximum sustainable delivery rate under

L0:paragraph (b)(2) of this clause, nor will the exercise of this option extend delivery more than 24 months beyond the

L0:scheduled final delivery.

L1:(d) Price negotiation.

L1:(1) Unless the option cost or price was previously agreed upon, the Contractor shall, within 30 days from the date of option

L0:exercise, submit to the Contracting Officer a cost or price proposal (including a cost breakdown) for the added or

L0:accelerated items.

L1:(2) Failure to agree on a cost or price in negotiations resulting from the exercise of this option shall constitute a dispute

L0:concerning a question of fact within the meaning of the Disputes clause of this contract. However, nothing in this clause

L0:shall excuse the Contractor from proceeding with the performance of the contract, as modified, while any resulting claim is

L0:being settled.

L0:(End of clause)

252.217-7002 Offering Property for Exchange

Status: active

L0:252.217-7002 Offering Property for Exchange.

L0:As prescribed in 217.7005 , use the following provision:

L0:OFFERING PROPERTY FOR EXCHANGE (JUN 2012)

L1:(a) The property described in item number _____, is being offered in accordance with the exchange provisions of

L0:40 U.S.C. 503.

L1:(b) The property is located at (insert address). Offerors may inspect the property during the period (insert beginning and

L0:ending dates and insert hours during day).

L0:(End of provision)

252.217-7003 Changes

Status: active

L0:252.217-7003 Changes.

L0:As prescribed in 217.7104 (a), use the following clause:

L0:CHANGES (DEC 1991)

L1:(a) The Contracting Officer may, at any time and without notice to the sureties, by written change order, make changes

L0:within the general scope of any job order issued under the Master Agreement in?

L1:(1) Drawings, designs, plans, and specifications;

L1:(2) Work itemized;

L1:(3) Place of performance of the work;

L1:(4) Time of commencement or completion of the work; and

L1:(5) Any other requirement of the job order.

L1:(b) If a change causes an increase or decrease in the cost of, or time required for, performance of the job order, whether or

L0: not changed by the order, the Contracting Officer shall make an equitable adjustment in the price or date of completion, or

L0: both, and shall modify the job order in writing.

L1:(1) Within ten days after the Contractor receives notification of the change, the Contractor shall submit to the Contracting

L0: Officer a request for price adjustment, together with a written estimate of the increased cost.

L1:(2) The Contracting Officer may grant an extension of this period if the Contractor requests it within the ten day period.

L1:(3) If the circumstances justify it, the Contracting Officer may accept and grant a request for equitable adjustment at any

L0: later time prior to final payment under the job order, except that the Contractor may not receive profit on a payment under a

L0: late request.

L1:(c) If the Contractor includes in its claim the cost of property made obsolete or excess as a result of a change, the

L0: Contracting Officer shall have the right to prescribe the manner of disposition of that property.

L1:(d) Failure to agree to any adjustment shall be a dispute within the meaning of the Disputes clause.

L1:(e) Nothing in this clause shall excuse the Contractor from proceeding with the job order as changed.

L0: (End of clause)

252.217-7004 Job Orders and Compensation

Status: active

L0: 252.217-7004 Job Orders and Compensation.

L0: As prescribed in 217.7104 (a), use the following clause:

L0: JOB ORDERS AND COMPENSATION (MAY 2006)

L1:(a) The Contracting Officer shall solicit bids or proposals and make award of job orders. The issuance of a job order signed

L0: by the Contracting Officer constitutes award. The job order shall incorporate the terms and conditions of the Master

L0: Agreement.

L1:(b) Whenever the Contracting Officer determines that a vessel, its cargo or stores, would be endangered by delay, or

L0: whenever the Contracting Officer determines that military necessity requires that immediate work on a vessel is necessary,

L0: the Contracting Officer may issue a written order to perform that work and the Contractor hereby agrees to comply with

L0: that order and to perform work on such vessel within its capabilities.

L1:(1) As soon as practicable after the issuance of the order, the Contracting Officer and the Contractor shall negotiate a price

L0: for the work and the Contracting Officer shall issue a job order covering the work.

L1:(2) The Contractor shall, upon request, furnish the Contracting Officer with a breakdown of costs incurred by the

L0: Contractor and an estimate of costs expected to be incurred in the performance of the work. The Contractor shall maintain,

L0:and make available for inspection by the Contracting Officer or the Contracting Officer's representative, records supporting

L0:the cost of performing the work.

L1:(3) Failure of the parties to agree upon the price of the work shall constitute a dispute within the meaning of the Disputes

L0:clause of the Master Agreement. In the meantime, the Contractor shall diligently proceed to perform the work ordered.

L1:(c)(1) If the nature of any repairs is such that their extent and probable cost cannot be ascertained readily, the Contracting

L0:Officer may issue a job order (on a sealed bid or negotiated basis) to determine the nature and extent of required repairs.

L1:(2) Upon determination by the Contracting Officer of what work is necessary, the Contractor, if requested by the

L0:Contracting Officer, shall negotiate prices for performance of that work. The prices agreed upon shall be set forth in a

L0:modification of the job order.

L1:(3) Failure of the parties to agree upon the price shall constitute a dispute under the Disputes clause. In the meantime, the

L0:Contractor shall diligently proceed to perform the work ordered.

L0:(End of clause)

252.217-7005 Inspection and Manner of Doing Work

Status: active

L0:252.217-7005 Inspection and Manner of Doing Work.

L0:As prescribed in 217.7104 (a), use the following clause:

L0:INSPECTION AND MANNER OF DOING WORK (JUL 2009)

L1:(a) The Contractor shall perform work in accordance with the job order, any drawings and specifications made a part of the

L0:job order, and any change or modification issued under the Changes clause of the Master Agreement.

L1:(b)(1) Except as provided in paragraph (b)(2) of this clause, and unless otherwise specifically provided in the job order, all

L0:operational practices of the Contractor and all workmanship, material, equipment, and articles used in the performance of

L0:work under the Master Agreement shall be in accordance with the best commercial marine practices and the rules and

L0:requirements of the American Bureau of Shipping, the U.S. Coast Guard, and the Institute of Electrical and Electronic

L0:Engineers, in effect at the time of Contractor's submission of bid (or acceptance of the job order, if negotiated).

L1:(2) When Navy specifications are specified in the job order, the Contractor shall follow Navy standards of material and

L0:workmanship. The solicitation shall prescribe the Navy standard whenever applicable.

L1:(c) The Government may inspect and test all material and workmanship at any time during the Contractor's performance of

L0:the work.

L1:(1) If, prior to delivery, the Government finds any material or workmanship is defective or not in accordance with the job

L0:order, in addition to its rights under the Guarantees clause of the Master Agreement, the Government may reject the L0:defective or nonconforming material or workmanship and require the Contractor to correct or replace it at the Contractor's

L0:expense.

L1:(2) If the Contractor fails to proceed promptly with the replacement or correction of the material or workmanship, the L0:Government may replace or correct the defective or nonconforming material or workmanship and charge the Contractor the

L0:excess costs incurred.

L1:(3) As specified in the job order, the Contractor shall provide and maintain an inspection system acceptable to the L0:Government.

L1:(4) The Contractor shall maintain complete records of all inspection work and shall make them available to the L0:Government during performance of the job order and for 90 days after the completion of all work required.

L1:(d) The Contractor shall not permit any welder to work on a vessel unless the welder is, at the time of the work, qualified to

L0:the standards established by the U.S. Coast Guard, American Bureau of Shipping, or Department of the Navy for the type

L0:of welding being performed. Qualifications of a welder shall be as specified in the job order.

L1:(e) The Contractor shall?

L1:(1) Exercise reasonable care to protect the vessel from fire;

L1:(2) Maintain a reasonable system of inspection over activities taking place in the vicinity of the vessel's magazines, fuel oil

L0:tanks, or storerooms containing flammable materials;

L1:(3) Maintain a reasonable number of hose lines ready for immediate use on the vessel at all times while the vessel is L0:berthed alongside the Contractor's pier or in dry dock or on a marine railway;

L1:(4) Unless otherwise provided in a job order, provide sufficient security patrols to reasonably maintain a fire watch for

L0:protection of the vessel when it is in the Contractor's custody;

L1:(5) To the extent necessary, clean, wash, and steam out or otherwise make safe, all tanks under alteration or repair;

L1:(6) Furnish the Contracting Officer or designated representative with a copy of the ?gas-free? or ?safe-for-hotwork?

L0:certificate, provided by a Marine Chemist or Coast Guard authorized person in accordance with Occupational Safety and

L0:Health Administration regulations (29 CFR 1915.14) before any hot work is done on a tank;

L1:(7) Treat the contents of any tank as Government property in accordance with the Government Property clause; and

L1:(8) Dispose of the contents of any tank only at the direction, or with the concurrence, of the Contracting Officer.

L1:(f) Except as otherwise provided in the job order, when the vessel is in the custody of the Contractor or in dry dock or on a

L0:marine railway and the temperature is expected to go as low as 35 of, the Contractor shall take all necessary steps to?

L1:(1) Keep all hose pipe lines, fixtures, traps, tanks, and other receptacles on the vessel from freezing; and

L1:(2) Protect the stern tube and propeller hubs from frost damage.

L1:(g) The Contractor shall, whenever practicable?

L1:(1) Perform the required work in a manner that will not interfere with the berthing and messing of Government personnel

L0:attached to the vessel; and

L1:(2) Provide Government personnel attached to the vessel access to the vessel at all times.

L1:(h) Government personnel attached to the vessel shall not interfere with the Contractor's work or workers.

L1:(i)(1) The Government does not guarantee the correctness of the dimensions, sizes, and shapes set forth in any job order,

L0:sketches, drawings, plans, or specifications prepared or furnished by the Government, unless the job order requires that the

L0:Contractor perform the work prior to any opportunity to inspect.

L1:(2) Except as stated in paragraph (i)(1) of this clause, and other than those parts furnished by the Government, the

L0:Contractor shall be responsible for the correctness of the dimensions, sizes, and shapes of parts furnished under this

L0:agreement.

L1:(j) The Contractor shall at all times keep the site of the work on the vessel free from accumulation of waste material or

L0:rubbish caused by its employees or the work. At the completion of the work, unless the job order specifies otherwise, the

L0:Contractor shall remove all rubbish from the site of the work and leave the immediate vicinity of the work area ?broom

L0:clean.?

L0:(End of clause)

252.217-7006 Title

Status: active

L0:252.217-7006 Title.

L0:As prescribed in 217.7104 (a), use the following clause:

L0:TITLE (DEC 1991)

L1:(a) Unless otherwise provided, title to all materials and equipment to be incorporated in a vessel in the performance of a job

L0:order shall vest in the Government upon delivery at the location specified for the performance of the work.

L1:(b) Upon completion of the job order, or with the approval of the Contracting Officer during performance of the job order,

L0:all Contractor-furnished materials and equipment not incorporated in, or placed on, any vessel, shall become the property

L0:of the Contractor, unless the Government has reimbursed the Contractor for the cost of the materials and equipment.

L1:(c) The vessel, its equipment, movable stores, cargo, or other ship's materials shall not be considered Governmentfurnished property.

L0:(End of clause)

252.217-7007 Payments

Status: active

L0:252.217-7007 Payments.

L0:As prescribed in 217.7104 (a), use the following clause:

L0:PAYMENTS (DEC 1991)

L1:(a) "Progress payments," as used in this clause, means payments made before completion of work in progress under a job

L0:order.

L1:(b) Upon submission by the Contractor of invoices in the form and number of copies directed by the Contracting Officer,

L0:and as approved by the Contracting Officer, the Government will make progress payments as work progresses under the

L0:job order.

L1:(1) Generally, the Contractor may submit invoices on a semi-monthly basis, unless expenditures justify a more frequent

L0:submission.

L1:(2) The Government need not make progress payments for invoices aggregating less than \$5,000.

L1:(3) The Contracting Officer shall approve progress payments based on the value, computed on the price of the job order, of

L0:labor and materials incorporated in the work, materials suitably stored at the site of the work, and preparatory work

L0:completed, less the aggregate of any previous payments.

L1:(4) Upon request, the Contractor will furnish the Contracting Officer any reports concerning expenditures on the work to

L0:date that the Contracting Officer may require.

L1:(c) The Government will retain until final completion and acceptance of all work covered by the job order, an amount

L0:estimated or approved by the Contracting Officer under paragraph (b) of this clause. The amount retained will be in

L0:accordance with the rate authorized by Congress for Naval vessel repair contracts at the time of job order award.

L1:(d) The Contracting Officer may direct that progress payments be based on the price of the job order as adjusted as a result

L0:of change orders under the Changes clause of the Master Agreement. If the Contracting Officer does not so direct?

L1:(1) Payments of any increases shall be made from time to time after the amount of the increase is determined under the

L0:Changes clause of the Master Agreement; and

L1:(2) Reductions resulting from decreases shall be made for the purposes of subsequent progress payments as soon as the

L0:amounts are determined under the Changes clause of the Master Agreement.

L1:(e) Upon completion of the work under a job order and final inspection and acceptance, and upon submission of invoices in

L0:such form and with such copies as the Contracting Officer may prescribe, the Contractor shall be paid for the price of the

L0:job order, as adjusted pursuant to the Changes clause of the Master Agreement, less any performance reserves deemed

L0:necessary by the Contracting Officer, and less the amount of any previous payments.

L1:(f) All materials, equipment, or any other property or work in process covered by the progress payments made by the

L0:Government, upon the making of those progress payments, shall become the sole property of the Government, and are

L0:subject to the provisions of the Title clause of the Master Agreement.

L0:(End of clause)

252.217-7008 Bonds

Status: active

L0:252.217-7008 Bonds.

L0:As prescribed in 217.7104 (a), use the following clause:

L0:BONDS (DEC 1991)

L1:(a) If the solicitation requires an offeror to submit a bid bond, the Offeror may furnish, instead, an annual bid bond (or

L0:evidence thereof) or an annual performance and payment bond (or evidence thereof).

L1:(b) If the solicitation does not require a bid bond, the Offeror shall not include in the price any contingency to cover the

L0:premium of such a bond.

L1:(c) Even if the solicitation does not require bonds, the Contracting Officer may nevertheless require a performance and

L0:payment bond, in form, amount, and with a surety acceptable to the Contracting Officer. Where performance and payment

L0:bond is required, the offer price shall be increased upon the award of the job order in an amount not to exceed the premium

L0:of a corporate surety bond.

L1:(d) If any surety upon any bond furnished in connection with a job order under this agreement fails to submit requested

L0:reports as to its financial condition or otherwise becomes unacceptable to the Government, the Contracting Officer may

L0:require the Contractor to furnish whatever additional security the Contracting Officer determines necessary to protect the

L0:interests of the Government and of persons supplying labor or materials in the performance of the work contemplated

L0:under the Master Agreement.

L0:(End of clause)

252.217-7009 Default

Status: active

L0:252.217-7009 Default.

L0:As prescribed in 217.7104 (a), use the following clause:

L0:DEFAULT (DEC 1991)

L1:(a) The Government may, subject to the provisions of paragraph (b) of this clause, by written notice of default to the L0:Contractor, terminate the whole or any part of a job order if the Contractor fails to?

L1:(1) Make delivery of the supplies or to perform the services within the time specified in a job order or any extension;

L1:(2) Make progress, so as to endanger performance of the job order; or

L1:(3) Perform any of the other provisions of this agreement or a job order.

L1:(b) Except for defaults of subcontractors, the Contractor shall not be liable for any excess costs if failure to perform the job

L0:order arises from causes beyond the control and without the fault or negligence of the Contractor. Examples of such causes

L0:include acts of God or of the public enemy, acts of the Government in either its sovereign or contractual capacity, fires,

L0:floods, epidemics, quarantine restrictions, strikes, freight embargoes, and unusually severe weather.

L1:(c) If the Contractor's failure to perform is caused by the default of a subcontractor, and if such default arises out of causes

L0:beyond the control of both the Contractor and subcontractor, and without the fault or negligence of either, the Contractor

L0:shall not be liable for any excess costs for failure to perform, unless the supplies or services to be furnished by the

L0:subcontractor were obtainable from other sources in sufficient time to permit the Contractor to perform the job order within

L0:the time specified.

L1:(d) If the Government terminates the job order in whole or in part as provided in paragraph (a) of this clause?

L1:(1) The Government may, upon such terms and in such manner as the Contracting Officer may deem appropriate, arrange

L0:for the completion of the work so terminated, at such plant or plants, including that of the Contractor, as may be designated

L0:by the Contracting Officer.

L1:(i) The Contractor shall continue the performance of the job order to the extent not terminated under the provisions of this

L0:clause.

L1:(ii) If the work is to be completed at the plant, the Government may use all tools, machinery, facilities, and equipment of

L0:the Contractor determined by the Contracting Office to be necessary for that purpose.

L1:(iii) If the cost to the Government of the work procured or completed (after adjusting such cost to exclude the effect of

L0:changes in the plans and specifications made subsequent to the date of termination) exceeds the price fixed for work under

L0:the job order (after adjusting such price on account of changes in the plans and specifications made before the date of

L0:termination), the Contractor, or the Contractor's surety, if any, shall be liable for such excess.

L1:(2) The Government, in addition to any other rights provided in this clause, may require the Contractor to transfer title and

L0:delivery to the Government, in the manner and to the extent directed by the Contracting Officer, any completed supplies

L0:and such partially completed supplies and materials, parts, tools, dies, jigs, fixtures, plans, drawings, information and

L0:contract rights (hereinafter called "manufacturing materials") as the Contractor has specifically produced or specifically

L0:acquired for the performance of the terminated part of the job order.

L1:(i) The Contractor shall, upon direction of the Contracting Officer, protect and preserve property in possession of the

L0:Contractor in which the Government has an interest.

L1:(ii) The Government shall pay to the Contractor the job order price for completed items of work delivered to and

accepted

L0:by the Government, and the amount agreed upon by the Contractor and the Contracting Officer for manufacturing materials

L0:delivered to and accepted by the Government, and for the protection and preservation of property. Failure to agree shall be

L0:a dispute concerning a question of fact within the meaning of the Disputes clause.

L1:(e) If, after notice of termination of the job order, it is determined that the Contractor was not in default, or that the default

L0:was excusable, the rights and obligations of the parties shall be the same as if the notice of termination had been issued for

L0:the convenience of the Government.

L1:(f) If the Contractor fails to complete the performance of a job order within the time specified, or any extension, the actual

L0:damage to the Government for the delay will be difficult or impossible to determine.

L1:(1) In lieu of actual damage, the Contractor shall pay to the Government as fixed, agreed, and liquidated damages for each

L0:calendar day of delay the amount, if any, set forth in the job order (prorated to the nearest hour for fractional days).

L1:(2) If the Government terminates the job order, the Contractor shall be liable, in addition to the excess costs provided in

L0:paragraph (d) of this clause, for liquidated damages accruing until such time as the Government may reasonably obtain

L0:completion of the work.

L1:(3) The Contractor shall not be charged with liquidated damages when the delay arises out of causes beyond the control

L0:and without the fault or negligence of the Contractor. Subject to the provisions of the Disputes clause of the Master

L0:Agreement, the Contracting Officer shall ascertain the facts and the extent of the delay and shall extend the time for

L0:performance when in the judgment of the Contracting Officer, the findings of fact justify an extension.

L1:(g) The rights and remedies of the Government provided in this clause shall not be exclusive and are in addition to any

L0:other rights and remedies provided by law under this agreement.

L0:(End of clause)

252.217-7010 Performance

Status: active

L0:252.217-7010 Performance.

L0:As prescribed in 217.7104 (a), use the following clause:

L0:PERFORMANCE (JUL 2009)

L1:(a) Upon the award of a job order, the Contractor shall promptly start the work specified and shall diligently prosecute the

L0:work to completion. The Contractor shall not start work until the job order has been awarded except in the case of

L0:emergency work ordered by the Contracting Officer under the Job Orders and Compensation clause of the Master

L0:Agreement.

L1:(b) The Government shall deliver the vessel described in the job order at the time and location specified in the job

order.

L0:Upon completion of the work, the Government shall accept delivery of the vessel at the time and location specified in the

L0:job order.

L1:(c) The Contractor shall, without charge and without specific requirement in a job order?

L1:(1) Make available at the plant to personnel of the vessel while in dry dock or on a marine railway, sanitary lavatory and

L0:similar facilities acceptable to the Contracting Officer;

L1:(2) Supply and maintain suitable brows and gangways from the pier, dry dock, or marine railway to the vessel;

L1:(3) Treat salvage, scrap or other ship's material of the Government resulting from performance of the work as items of

L0:Government-furnished property, in accordance with the Government Property clause;

L1:(4) Perform, or pay the cost of, any repair, reconditioning or replacement made necessary as the result of the use by the

L0:Contractor of any of the vessel's machinery, equipment or fittings, including, but not limited to, winches, pumps, rigging,

L0:or pipe lines; and

L1:(5) Furnish suitable offices, office equipment and telephones at or near the site of the work for the Government's use.

L1:(d) The job order will state whether dock and sea trials are required to determine whether or not the Contractor has

L0:satisfactorily performed the work.

L1:(1) If dock and sea trials are required, the vessel shall be under the control of the vessel's commander and crew.

L1:(2) The Contractor shall not conduct dock and sea trials not specified in the job order without advance approval of the

L0:Contracting Officer. Dock and sea trials not specified in the job order shall be at the Contractor's expense and risk.

L1:(3) The Contractor shall provide and install all fittings and appliances necessary for dock and sea trials. The Contractor

L0:shall be responsible for care, installation, and removal of instruments and apparatus furnished by the Government for use in

L0:the trials.

L0:(End of clause)

252.217-7011 Access to Vessel

Status: active

L0:252.217-7011 Access to Vessel.

L0:As prescribed at 217.7104 (a), use the following clause:

L0:ACCESS TO VESSEL (DEC 1991)

L1:(a) Upon the request of the Contracting Officer, the Contractor shall grant admission to the Contractor's facilities and L0:access to vessel, on a non-interference basis, as necessary to perform their respective responsibilities, to a reasonable

L0:number of:

L1:(1) Government and other Government contractor employees (in addition to those Government employees attached to the

L0:vessel); and

L1:(2) Representatives of offerors on other contemplated Government work.

L1:(b) All personnel granted access shall comply with Contractor rules governing personnel at its shipyard.

L0:(End of clause)

252.217-7012 Liability and Insurance

Status: active

L0:252.217-7012 Liability and Insurance.

L0:As prescribed in 217.7104 (a), use the following clause:

L0:LIABILITY AND INSURANCE (AUG 2003)

L1:(a) The Contractor shall exercise its best efforts to prevent accidents, injury, or damage to all employees, persons, and

L0:property, in and about the work, and to the vessel or part of the vessel upon which work is done.

L1:(b) Loss or damage to the vessel, materials, or equipment.

L1:(1) Unless otherwise directed or approved in writing by the Contracting Officer, the Contractor shall not carry insurance

L0:against any form of loss or damage to the vessel(s) or to the materials or equipment to which the Government has title or

L0:which have been furnished by the Government for installation by the Contractor. The Government assumes the risks of loss

L0:of and damage to that property.

L1:(2) The Government does not assume any risk with respect to loss or damage compensated for by insurance or otherwise or

L0:resulting from risks with respect to which the Contractor has failed to maintain insurance, if available, as required or

L0:approved by the Contracting Officer.

L1:(3) The Government does not assume risk of and will not pay for any costs of the following:

L1:(i) Inspection, repair, replacement, or renewal of any defects in the vessel(s) or material and equipment due to?

L1:(A) Defective workmanship performed by the Contractor or its subcontractors;

L1:(B) Defective materials or equipment furnished by the Contractor or its subcontracts; or

L1:(C) Workmanship, materials, or equipment which do not conform to the requirements of the contract, whether or not the

L0:defect is latent or whether or not the nonconformance is the result of negligence.

L1:(ii) Loss, damage, liability, or expense caused by, resulting from, or incurred as a consequence of any delay or disruption,

L0:willful misconduct or lack of good faith by the Contractor or any of its representatives that have supervision or direction of

L0:?

L1:(A) All or substantially all of the Contractor's business; or

L1:(B) All or substantially all of the Contractor's operation at any one plant.

L1:(4) As to any risk that is assumed by the Government, the Government shall be subrogated to any claim, demand or cause

L0:of action against third parties that exists in favor of the Contractor. If required by the Contracting Officer, the Contractor

L0:shall execute a formal assignment or transfer of the claim, demand, or cause of action.

L1:(5) No party other than the Contractor shall have any right to proceed directly against the Government or join the
L0:Government as a co-defendant in any action.

L1:(6) Notwithstanding the foregoing, the Contractor shall bear the first \$50,000 of loss or damage from each
occurrence or

L0:incident, the risk of which the Government would have assumed under the provisions of this paragraph (b).

L1:(c) Indemnification. The Contractor indemnifies the Government and the vessel and its owners against all claims,
demands,

L0:or causes of action to which the Government, the vessel or its owner(s) might be subject as a result of damage or
injury

L0:(including death) to the property or person of anyone other than the Government or its employees, or the vessel or
its

L0:owner, arising in whole or in part from the negligence or other wrongful act of the Contractor or its agents or
employees, or

L0:any subcontractor, or its agents or employees.

L1:(1) The Contractor's obligation to indemnify under this paragraph shall not exceed the sum of \$300,000 as a
consequence

L0:of any single occurrence with respect to any one vessel.

L1:(2) The indemnity includes, without limitation, suits, actions, claims, costs, or demands of any kind, resulting from
death,

L0:personal injury, or property damage occurring during the period of performance of work on the vessel or within 90
days

L0:after redelivery of the vessel. For any claim, etc., made after 90 days, the rights of the parties shall be as determined
by

L0:other provisions of this agreement and by law. The indemnity does apply to death occurring after 90 days where the
injury

L0:was received during the period covered by the indemnity.

L1:(d) Insurance.

L1:(1) The Contractor shall, at its own expense, obtain and maintain the following insurance?

L1:(i) Casualty, accident, and liability insurance, as approved by the Contracting Officer, insuring the performance of its
L0:obligations under paragraph (c) of this clause.

L1:(ii) Workers Compensation Insurance (or its equivalent) covering the employees engaged on the work.

L1:(2) The Contractor shall ensure that all subcontractors engaged on the work obtain and maintain the insurance
required in

L0:paragraph (d)(1) of this clause.

L1:(3) Upon request of the Contracting Officer, the Contractor shall provide evidence of the insurance required by
paragraph

L1:(d) of this clause.

L1:(e) The Contractor shall not make any allowance in the job order price for the inclusion of any premium expense or
charge

L0:for any reserve made on account of self-insurance for coverage against any risk assumed by the Government under
this

L0:clause.

L1:(f) The Contractor shall give the Contracting Officer written notice as soon as practicable after the occurrence of a
loss or

L0: damage for which the Government has assumed the risk.

L1:(1) The notice shall contain full details of the loss or damage.

L1:(2) If a claim or suit is later filed against the Contractor as a result of the event, the Contractor shall immediately deliver to

L0: the Government every demand, notice, summons, or other process received by the Contractor or its employees or

L0: representatives.

L1:(3) The Contractor shall cooperate with the Government and, upon request, shall assist in effecting settlements, securing

L0: and giving evidence, obtaining the attendance of witnesses, and in the conduct of suits. The Government shall reimburse

L0: the Contractor for expenses incurred in this effort, other than the cost of maintaining the Contractor's usual organization.

L1:(4) The Contractor shall not, except at its own expense, voluntarily make any payment, assume any obligation, or incur any

L0: expense other than what would be imperative for the protection of the vessel(s) at the time of the event.

L1:(g) In the event of loss of or damage to any vessel(s), material, or equipment which may result in a claim against the L0: Government under the insurance provisions of this contract, the Contractor shall promptly notify the Contracting Officer of

L0: the loss or damage. The Contracting Officer may, without prejudice to any other right of the Government, either?

L1:(1) Order the Contractor to proceed with replacement or repair, in which event the Contractor shall effect the replacement

L0: or repair;

L1:(i) The Contractor shall submit to the Contracting Officer a request for reimbursement of the cost of the replacement or

L0: repair together with whatever supporting documentation the Contracting Officer may reasonably require, and shall identify

L0: the request as being submitted under the Insurance clause of the agreement.

L1:(ii) If the Government determines that the risk of the loss or damage is within the scope of the risks assumed by the

L0: Government under this clause, the Government will reimburse the Contractor for the reasonable, allowable cost of the

L0: replacement or repair, plus a reasonable profit (if the work or replacement or repair was performed by the Contractor) less

L0: the deductible amount specified in paragraph (b) of this clause.

L1:(iii) Payments by the Government to the Contractor under this clause are outside the scope of and shall not affect the

L0: pricing structure of the contract, and are additional to the compensation otherwise payable to the Contractor under this

L0: contract; or

L1:(2) In the event the Contracting Officer decides that the loss or damage shall not be replaced or repaired, the Contracting

L0: Officer shall?

L1:(i) Modify the contract appropriately, consistent with the reduced requirements reflected by the unreplaced or unrepaired

L0: loss or damage; or

L1:(ii) Terminate the repair of any part or all of the vessel(s) under the Termination for Convenience of the Government

clause

L0:of this agreement.

L0:(End of clause)

252.217-7013 Guarantees

Status: active

L0:252.217-7013 Guarantees.

L0:As prescribed in 217.7104 (a), use the following clause:

L0:GUARANTEES (DEC 1991)

L1:(a) In the event any work performed or materials furnished by the contractor under the Master Agreement prove defective

L0:or deficient within 90 days from the date of redelivery of the vessel(s), the Contractor, as directed by the Contracting Officer and at its own expense, shall correct and repair the deficiency to the satisfaction of the Contracting Officer.

L1:(b) If the Contractor or any subcontractor has a guarantee for work performed or materials furnished that exceeds the 90

L0:day period, the Government shall be entitled to rely upon the longer guarantee until its expiration.

L1:(c) With respect to any individual work item identified as incomplete at the time of redelivery of the vessel(s), the L0:guarantee period shall run from the date the item is completed.

L1:(d) If practicable, the Government shall give the Contractor an opportunity to correct the deficiency.

L1:(1) If the Contracting Officer determines it is not practicable or is otherwise not advisable to return the vessel(s) to the

L0:Contractor, or the Contractor fails to proceed with the repairs promptly, the Contracting Officer may direct that the repairs

L0:be performed elsewhere, at the Contractor's expense.

L1:(2) If correction and repairs are performed by other than the Contractor, the Contracting Officer may discharge the L0:Contractor's liability by making an equitable deduction in the price of the job order.

L1:(e) The Contractor's liability shall extend for an additional 90 day guarantee period on those defects or deficiencies that the

L0:Contractor corrected.

L1:(f) At the option of the Contracting Officer, defects and deficiencies may be left uncorrected. In that event, the Contractor

L0:and Contracting Officer shall negotiate an equitable reduction in the job price. Failure to agree upon an equitable reduction

L0:shall constitute a dispute under the Disputes clause of this agreement.

L0:(End of clause)

252.217-7014 Discharge of Liens

Status: active

L0:252.217-7014 Discharge of Liens.

L0:As prescribed in 217.7104 (a), use the following clause:

L0:DISCHARGE OF LIENS (DEC 1991)

L1:(a) The Contractor shall immediately discharge, or cause to be discharged, any lien or right in rem of any kind, other than

L0:in favor of the Government, that exists or arises in connection with work done or material furnished under any job order

L0:under this agreement.

L1:(b) If any lien or right in rem is not immediately discharged, the Government, at the expense of the Contractor, may

L0:discharge, or cause to be discharged, the lien or right.

L0:(End of clause)

252.217-7015 Safety and Health

Status: active

L0:252.217-7015 Safety and Health.

L0:As prescribed in 217.7104 (a), use the following clause:

L0:SAFETY AND HEALTH (DEC 1991)

L0:Nothing contained in the Master Agreement or any job order shall relieve the Contractor of any obligations it may have to

L0:comply with?

L1:(a) The Occupational Safety and Health Act of 1970 (29 U.S.C. 651, et seq.);

L1:(b) The Safety and Health Regulations for Ship Repairing (29 CFR 1915); or

L1:(c) Any other applicable Federal, State, and local laws, codes, ordinances, and regulations.

L0:(End of clause)

252.217-7016 Plant Protection

Status: active

L0:252.217-7016 Plant Protection.

L0:As prescribed in 217.7104 (a), use the following clause:

L0:PLANT PROTECTION (DEC 1991)

L1:(a) The Contractor shall provide, for the plant and work in process, reasonable safeguards against all hazards, including

L0:unauthorized entry, malicious mischief, theft, vandalism, and fire.

L1:(b) The Contractor shall also provide whatever additional safeguards are necessary to protect the plant and work in process

L0:from espionage, sabotage, and enemy action.

L1:(1) The Government shall reimburse the Contractor for that portion of the costs of the additional safeguards that is

L0:allocable to the contract in the same manner as if the Contracting Officer had issued a change order for the additional

L0:safeguards.

L1:(2) The costs reimbursed shall not include any overhead allowance, unless the overhead is incident to the construction or

L0:installation of necessary security devices or equipment.

L1:(c) Upon payment by the Government of the cost of any device or equipment required or approved under paragraph

(b) of

L0:this clause, title shall vest in the Government.

L1:(1) The Contractor shall comply with the instructions of the Contracting Officer concerning its identification and
L0:disposition.

L1:(2) No such device or equipment shall become a fixture as a result of its being affixed to realty not owned by the
L0:Government.

L0:(End of clause)

252.217-7026 Identification of Sources of Supply

Status: active

L0:252.217-7026 Identification of Sources of Supply.

L0:As prescribed in 217.7303 , use the following provision:

L0:IDENTIFICATION OF SOURCES OF SUPPLY (JAN 2023)

L1:(a) The Government is required under 10 U.S.C. 4753 to obtain certain information on the actual manufacturer or
sources

L0:of supplies it acquires.

L1:(b) The apparently successful Offeror agrees to complete and submit the following table before award:

L0:TABLE

L0:National

L0:Commercial

L0:Source of

L0:Supply

L0:Line

L0:Stock

L0:Product or

L0:Commercial

L0:Service

L0:Company

L0:Address

L0:Part No.

L0:Mfg?

L0:Items

L0:Number

L0:(Y or N)

L1:(1)

L1:(2)

L1:(3)

L1:(4)

L1:(4)

L1:(5)

L1:(6)

L0:_____

L0:_____

L0:_____

L0:_____

L0:_____

L0:_____

L0:_____

L0:Actual

L1:(1) List each deliverable item of supply and item of technical data.

L1:(2) If there is no national stock number, list ?none?.

L1:(3) Use ?Y? if the item is a commercial product or commercial service; otherwise use ?N?. If ?Y? is listed, the

L0:Offeror need not complete the remaining columns in the table.

L1:(4) For items of supply, list all sources. For technical data, list the source.

L1:(5) For items of supply, list each source's part number for the item.

L1:(6) Use ?Y? if the source of supply is the actual manufacturer; ?N? if it is not; and ?U? if unknown.

L0:(End of provision)

252.217-7027 Contract Definitization

Status: active

L0:252.217-7027 Contract Definitization.

L0:As prescribed in 217.7406 (b), use the following clause:

L0:CONTRACT DEFINITIZATION (MAY 2023)

L1:(a) A _____ [insert specific type of contract action] is contemplated. The Contractor agrees to begin

L0:promptly negotiating with the Contracting Officer the terms of a definitive contract that will include?

L1:(1) All clauses required by the Federal Acquisition Regulation (FAR) on the date of execution of the undefinitized contract

L0:action;

L1:(2) All clauses required by law on the date of execution of the definitive contract action, and

L1:(3) Any other mutually agreeable clauses, terms, and conditions.

L1:(b) The Contractor agrees to submit a _____ [insert type of proposal; e.g., fixed-price or cost-and-fee]

L0:proposal and certified cost or pricing data supporting its proposal. Notwithstanding FAR 52.216-26, Payments of

L0:Allowable Costs Before Definitization, failure to meet the qualifying proposal date in the contract definitization schedule

L0:could result in the Contracting Officer withholding an amount up to 5 percent of all subsequent requests for financing until

L0:the Contracting Officer determines that a proposal is qualifying.

L1:(c) The schedule for definitizing this contract action is as follows [insert target date for definitization of the contract action

L0:and dates for submission of proposal, beginning of negotiations, and, if appropriate, submission of the make-or-buy and

L0:subcontracting plans and certified cost or pricing data]:

L1:(d) If agreement on a definitive contract action to supersede this undefinitized contract action is not reached by the target

L0:date in paragraph (c) of this clause, or within any extension of it granted by the Contracting Officer, the Contracting Officer

L0:may, with the approval of the head of the contracting activity, determine a reasonable price or fee in accordance with FAR

L0:Subpart 15.4 and Part 31, subject to Contractor appeal as provided in the Disputes clause. In any event, the Contractor shall

L0:proceed with completion of the contract, subject only to the Limitation of Government Liability clause.

L1:(1) After the Contracting Officer's determination of price or fee, the contract shall be governed by?

L1:(i) All clauses required by the FAR on the date of execution of this undefinitized contract action for either fixed-price or

L0:cost-reimbursement contracts, as determined by the Contracting Officer under this paragraph (d);

L1:(ii) All clauses required by law as of the date of the Contracting Officer's determination; and

L1:(iii) Any other clauses, terms, and conditions mutually agreed upon.

L1:(2) To the extent consistent with paragraph (d)(1) of this clause, all clauses, terms, and conditions included in this

L0:undefinitized contract action shall continue in effect, except those that by their nature apply only to an undefinitized

L0:contract action.

L1:(e) The definitive contract resulting from this undefinitized contract action will include a negotiated

L0:[insert "cost/price ceiling" or "firm-fixed price"] in no event to exceed _____ [insert the not-to-exceed amount].

L0:(End of clause)

252.217-7028 Over and Above Work

Status: active

L0:252.217-7028 Over and Above Work.

L0:As prescribed in 217.7702 , use a clause substantially as follows:

L0:OVER AND ABOVE WORK (DEC 1991)

L1:(a) Definitions. As used in this clause?

L1:(1) "Over and above work" means work discovered during the course of performing overhaul, maintenance, and repair

L0:efforts that is?

L1:(i) Within the general scope of the contract;

L1:(ii) Not covered by the line item(s) for the basic work under the contract; and

L1:(iii) Necessary in order to satisfactorily complete the contract.

L1:(2) "Work request" means a document prepared by the Contractor which describes over and above work being proposed.

L1:(b) The Contractor and Administrative Contracting Officer shall mutually agree to procedures for Government

L0:administration and Contractor performance of over and above work requests. If the parties cannot agree upon the

L0:procedures, the Administrative Contracting Officer has the unilateral right to direct the over and above work procedures to

L0:be followed. These procedures shall, as a minimum, cover?

L1:(1) The format, content, and submission of work requests by the Contractor. Work requests shall contain data on the type of

L0:discrepancy disclosed, the specific location of the discrepancy, and the estimated labor hours and material required to

L0:correct the discrepancy. Data shall be sufficient to satisfy contract requirements and obtain the authorization of the

L0:Contracting Officer to perform the proposed work;

L1:(2) Government review, verification, and authorization of the work; and

L1:(3) Proposal pricing, submission, negotiation, and definitization.

L1:(c) Upon discovery of the need for over and above work, the Contractor shall prepare and furnish to the Government a

L0:work request in accordance with the agreed-to procedures.

L1:(d) The Government shall?

L1:(1) Promptly review the work request;

L1:(2) Verify that the proposed work is required and not covered under the basic contract line item(s);

L1:(3) Verify that the proposed corrective action is appropriate; and

L1:(4) Authorize over and above work as necessary.

L1:(e) The Contractor shall promptly submit to the Contracting Officer, a proposal for the over and above work. The

L0:Government and Contractor will then negotiate a settlement for the over and above work. Contract modifications will be

L0:executed to definitize all over and above work.

L1:(f) Failure to agree on the price of over and above work shall be a dispute within the meaning of the Disputes clause of this

L0:contract.

L0:(End of clause)

252.219-7000 Advancing Small Business Growth

Status: active

L0:252.219-7000 Advancing Small Business Growth.

L0:As prescribed in 219.309 (1), use the following provision:

L0:ADVANCING SMALL BUSINESS GROWTH (JUN 2023)

L1:(a) This provision implements 10 U.S.C. 4959.

L1:(b) The Offeror acknowledges by submission of its offer that by acceptance of the contract resulting from this solicitation,

L0:the Offeror may exceed the applicable small business size standard of the North American Industry Classification System

L1:(NAICS) code assigned to the contract and would no longer qualify as a small business concern for that NAICS code.

L0:Small business size standards matched to industry NAICS codes are published by the Small Business Administration and

L0:are available at 13 CFR 121.201 and <https://www.sba.gov/document/support-table-size-standards>. The Offeror is therefore

L0:encouraged to develop the capabilities and characteristics typically desired in contractors that are competitive as other <https://www.acquisition.gov/node/36356/printable/print>

L0:than-small contractors in this industry.

L1:(c) For procurement technical assistance, the Offeror may contact the nearest APEX Accelerator. APEX Accelerator

L0:locations are available at <https://www.apexaccelerators.us> .

L0:(End of provision)

252.219-7003 , Small Business Subcontracting Plan (DoD Contracts)-Basic;

Status: active

L0:252.219-7003 , Small Business Subcontracting Plan (DoD Contracts)-Basic;

L1:(2) FAR 52.219-9, Small Business Subcontracting Plan, with its Alternate III, and DFARS 252.219-7003 , Small Business

L0:Subcontracting Plan (DoD Contracts)-Alternate I, to allow for submission of SF 294s in lieu of ISRs; or

L1:(3) DFARS 252.219-7004 , Small Business Subcontracting Plan (Test Program), in subcontracts with subcontractors that

L0:participate in the Test Program described in DFARS 219.702-70 .

L0:(End of clause)

252.219-7004 Small Business Subcontracting Plan (Test Program)

Status: active

L0:252.219-7004 Small Business Subcontracting Plan (Test Program).

L0:As prescribed in 219.708 (b)(1)(B), use the following clause:

L0:SMALL BUSINESS SUBCONTRACTING PLAN (TEST PROGRAM) (DEC 2022)

L1:(a) Definitions. As used in this clause?

L0:?"Covered small business concern" means a small business concern, veteran-owned small business concern, servicedisabled veteran-owned small business concern, HUBZone small business concern, women-owned small business concern,

L0:or small disadvantaged business concern, as these terms are defined in FAR 2.101.

L0:?"Electronic Subcontracting Reporting System (eSRS)" means the Governmentwide, electronic, web-based system for small

L0:business subcontracting program reporting. The eSRS is located at <http://www.esrs.gov>.

L0:?"Failure to make a good faith effort to comply with a comprehensive subcontracting plan" means a willful or intentional

L0:failure to perform in accordance with the requirements of the Contractor?s approved comprehensive subcontracting plan or

L0:willful or intentional action to frustrate the plan.

L0:?"Subcontract" means any agreement (other than one involving an employer-employee relationship) entered into by a

L0:Federal Government prime Contractor or subcontractor calling for supplies or services required for performance of the

L0:contract or subcontract.

L1:(b) Test Program. The Contractor?s comprehensive small business subcontracting plan and its successors, which are

L0:authorized by and approved under the Test Program of 15 U.S.C. 637 note, as amended, shall be included in and made a

L0:part of this contract. Upon expulsion from the Test Program or expiration of the Test Program, the Contractor shall

L0:negotiate an individual subcontracting plan for all future contracts that meet the requirements of 15 U.S.C. 637(d).

L1:(c) Eligibility requirements. To become and remain eligible to participate in the Test Program, a business concern is

L0:required to have furnished supplies or services (including construction) under at least three DoD contracts during the

L0:preceding fiscal year, having an aggregate value of at least \$100 million.

L1:(d) Reports.

L1:(1) The Contractor shall report semiannually for the 6-month periods ending March 31 and September 30, the information

L0:in paragraphs (d)(1)(i) through (v) of this section within 30 days after the end of the reporting period. Submit the report at

L0:<https://www.esrs.gov>.

L1:(i) A list of contracts covered under its comprehensive small business subcontracting plan, to include the Commercial and

L0:Government Entity (CAGE) code and unique entity identifier.

L1:(ii) The amount of first-tier subcontract dollars awarded during the 6-month period covered by the report to covered small

L0:business concerns, with the information set forth separately by?

L1:(A) North American Industrial Classification System (NAICS) code;

L1:(B) Major defense acquisition program, as defined in 10 U.S.C. 4201;

L1:(C) Contract number, if the contract is for maintenance, overhaul, repair, servicing, rehabilitation, salvage, modernization,

L0:or modification of supplies, systems, or equipment, and the total value of the contract, including options, exceeds \$100

L0:million; and

L1:(D) Military department.

L1:(iii) Total number of subcontracts active under the Test Program that would have otherwise required a subcontracting plan.

L1:(iv) Costs incurred in negotiating, complying with, and reporting on its comprehensive subcontracting plan.

L1:(v) Costs avoided through the use of a comprehensive subcontracting plan.

L1:(2) The Contractor shall?

L1:(i) Ensure that subcontractors with subcontracting plans agree to submit an Individual Subcontract Report (ISR) and/or

L0:Summary Subcontract Report (SSR) using the Electronic Subcontracting Reporting System (eSRS).

L1:(ii) Provide its contract number, its unique entity identifier, and the email address of the Contractor?s official responsible

L0:for acknowledging or rejecting the ISR to all first-tier subcontractors, who will be required to submit ISRs, so they can

L0:enter this information into the eSRS when submitting their reports.

L1:(iii) Require that each subcontractor with a subcontracting plan provide the prime contract number, its own unique entity

L0:identifier, and the email address of the subcontractor?s official responsible for acknowledging or rejecting the ISRs to its

L0:subcontractors with subcontracting plans who will be required to submit ISRs.

L1:(iv) Acknowledge receipt or reject all ISRs submitted by its subcontractors using eSRS.

L1:(3) The Contractor shall submit SSRs using eSRS at <http://www.esrs.gov>. The reports shall provide information on

L0:subcontract awards to small business concerns, veteran-owned small business concerns, service-disabled veteran-owned

L0:small business concerns, HUBZone small business concerns, small disadvantaged business concerns, and women-owned

L0:small business concerns. Purchases from a corporation, company, or subdivision that is an affiliate of the prime Contractor

L0:or subcontractor are not included in these reports. Subcontract award data reported by prime contractors and subcontractors

L0:shall be limited to awards made to their immediate next-tier subcontractors. Credit cannot be taken for awards made to

L0:lower-tier subcontractors unless the Contractor or subcontractor has been designated to receive a small business or small

L0:disadvantaged business credit from a member firm of the Alaska Native Corporations or an Indian tribe. Only subcontracts

L0:involving performance in the U.S. or its outlying areas should be included in these reports.

L1:(i) This report may be submitted on a corporate, company, or subdivision (e.g., plant or division operating as a separate

L0:profit center) basis, as negotiated in the comprehensive subcontracting plan with the Defense Contract Management L0:Agency.

L1:(ii) This report encompasses all subcontracting under prime contracts and subcontracts with the Department of Defense,

L0:regardless of the dollar value of the subcontracts, and is based on the negotiated comprehensive subcontracting plan.

L1:(iii) The report shall be submitted semi-annually for the six months ending March 31 and the twelve months ending

L0:September 30. Reports are due 30 days after the close of each reporting period.

L1:(iv) The authority to acknowledge receipt of or reject the SSR resides with the Defense Contract Management Agency.

L1:(e) Failure to comply. The failure of the Contractor or subcontractor to comply in good faith with the clause of this contract

L0:entitled "Utilization of Small Business Concerns," or an approved plan required by this clause, shall be a material breach of

L0:the contract.

L1:(f) Liquidated damages. The Contracting Officer designated to manage the comprehensive subcontracting plan will

L0:exercise the functions of the Contracting Officer, as identified in paragraphs (f)(1) through (4) of this clause, on behalf of

L0:all DoD departments and agencies that awarded contracts covered by the Contractor's comprehensive subcontracting plan.

L1:(1) To determine the need for liquidated damages, the Contracting Officer will conduct a compliance review during the

L0:fiscal year after the close of the fiscal year for which the plan is applicable. The Contracting Officer will compare the

L0:approved percentage or dollar goals to the total, actual subcontracting dollars covered by the plan.

L1:(2) If the Contractor has failed to meet its approved subcontracting goal(s), the Contracting Officer will provide the

L0:Contractor written notice specifying the failure, advising of the potential for assessment of liquidated damages, and

L0:permitting the Contractor to demonstrate what good faith efforts have been made. The Contracting Officer may take the

L0:Contractor?s failure to respond to the notice within 15 working days (or longer period at the Contracting Officer?s discretion) as an admission that no valid explanation exists.

L1:(3) If, after consideration of all relevant information, the Contracting Officer determines that the Contractor failed to make

L0:a good faith effort to comply with the comprehensive subcontracting plan, the Contracting Officer will issue a final

L0:decision to the Contractor to that effect and require the Contractor to pay liquidated damages to the Government in the

L0:amount identified in the comprehensive subcontracting plan.

L1:(4) The Contractor shall have the right of appeal under the clause in this contract entitled ?Disputes? from any final

L0:decision of the Contracting Officer.

L1:(g) Subcontracts. The Contractor shall include in subcontracts that offer subcontracting opportunities, are expected to

L0:exceed the applicable threshold specified in FAR 19.702(a) on the date of subcontract award, and are required to include

L0:the clause at FAR 52.219-8, Utilization of Small Business Concerns, the clauses at?

L1:(1) FAR 52.219-9, Small Business Subcontracting Plan, and Defense Federal Acquisition Regulation Supplement (DFARS)

252.219-7009 Section 8(a) Direct Award

Status: active

L0:252.219-7009 Section 8(a) Direct Award.

L0:As prescribed in 219.811-3 (1), use the following clause:

L0:SECTION 8(a) DIRECT AWARD (OCT 2018)

L1:(a) This contract is issued as a direct award between the contracting office and the 8(a) Contractor pursuant to the

L0:Partnership Agreement between the Small Business Administration (SBA) and the Department of Defense. Accordingly,

L0:the SBA, even if not identified in Section A of this contract, is the prime contractor and retains responsibility for 8(a)

L0:certification, for 8(a) eligibility determinations and related issues, and for providing counseling and assistance to the 8(a)

L0:Contractor under the 8(a) Program. The cognizant SBA district office is:

L0:_____

L0:_____

L0:_____

L0:_____

L0:[To be completed by the Contracting Officer at the time of award]

L1:(b) The contracting office is responsible for administering the contract and for taking any action on behalf of the

L0:Government under the terms and conditions of the contract; provided that the contracting office shall give advance notice

L0:to the SBA before it issues a final notice terminating performance, either in whole or in part, under the contract. The

L0:contracting office also shall coordinate with the SBA prior to processing any novation agreement. The contracting office

L0:may assign contract administration functions to a contract administration office.

L1:(c) The 8(a) Contractor agrees that it will notify the Contracting Officer, simultaneous with its notification to the SBA

(as

L0:required by SBA's 8(a) regulations at 13 CFR 124.515), when the owner or owners upon whom 8(a) eligibility is based

L0:plan to relinquish ownership or control of the concern. Consistent with section 407 of Public Law 100-656, transfer of

L0:ownership or control shall result in termination of the contract for convenience, unless the SBA waives the requirement for

L0:termination prior to the actual relinquishing of ownership and control.

L0:(End of clause)

252.219-7010 Notification of Competition Limited to Eligible 8(a) Participants?Partnership Agreement

Status: active

L0:252.219-7010 Notification of Competition Limited to Eligible 8(a) Participants?Partnership Agreement.

L0:As prescribed in 219.811-3 (2), use the following clause:

L0:Notification of Competition Limited to Eligible 8(a) PARTICIPANTS?PARTNERSHIP agreement (OCT 2019)

L1:(a) Offers are solicited only from small business concerns expressly certified by the Small Business Administration (SBA)

L0:for participation in SBA's 8(a) Program and which meet the following criteria at the time of submission of offer:

L1:(1) The Offeror is in conformance with the 8(a) support limitation set forth in its approved business plan.

L1:(2) The Offeror is in conformance with the Business Activity Targets set forth in its approved business plan or any remedial

L0:action directed by SBA.

L1:(3) If the competition is to be limited to 8(a) concerns within one or more specific SBA regions or districts, then the

L0:offeror's approved business plan is on the file and serviced by _____. [Contracting Officer

L0:completes by inserting the appropriate SBA District and/or Regional Office(s) as identified by SBA.]

L1:(b) By submission of its offer, the Offeror represents that it meets all of the criteria set forth in paragraph (a) of this clause.

L1:(c) Any award resulting from this solicitation will be made directly by the Contracting Officer to the successful 8(a) offeror

L0:selected through the evaluation criteria set forth in this solicitation.

L1:(d)(1) Unless SBA has waived the requirements of paragraphs (d)(1)(i) through (iii) and (d)(2) of this clause in accordance

L0:with 13 CFR 121.1204, a small business concern that provides an end item it did not manufacture, process, or produce,

L0:shall?

L1:(i) Provide an end item that a small business has manufactured, processed, or produced in the United States or its outlying

L0:areas; for kit assemblers, see paragraph (d)(2) of this clause instead;

L1:(ii) Be primarily engaged in the retail or wholesale trade and normally sell the type of item being supplied; and

L1:(iii) Take ownership or possession of the item(s) with its personnel, equipment, or facilities in a manner consistent with

L0:industry practice; for example, providing storage, transportation, or delivery.

L1:(2) When the end item being acquired is a kit of supplies, at least 50 percent of the total cost of the components of the kit

L0:shall be manufactured, processed, or produced by small businesses in the United States or its outlying areas.

L1:(3) The requirements of paragraphs (d)(1)(i) through (iii) and (d)(2) of this clause do not apply to construction or service

L0:contracts.

L1:(e) The _____ [insert name of SBA's contractor] will notify the

L0:_____ [insert name of contracting agency] Contracting Officer in writing immediately upon entering an

L0:agreement (either oral or written) to transfer all or part of its stock or other ownership interest to any other party.

L0:(End of clause)

252.219-7011 Notification to Delay Performance

Status: active

L0:252.219-7011 Notification to Delay Performance.

L0:As prescribed in 219.811-3 (3), use the following clause:

L0:NOTIFICATION TO DELAY PERFORMANCE (JUN 1998)

L0:The Contractor shall not begin performance under this purchase order until 2 working days have passed from the date of its

L0:receipt. Unless the Contractor receives notification from the Small Business Administration that it is ineligible for this 8(a)

L0:award, or otherwise receives instructions from the Contracting Officer, performance under this purchase order may begin

L0:on the third working day following receipt of the purchase order. If a determination of ineligibility is issued within the 2day period, the purchase order shall be considered canceled.

L0:(End of clause)

252.219-7012 Competition for Religious-Related Services

Status: active

L0:252.219-7012 Competition for Religious-Related Services.

L0:As prescribed in 219.270-3 , use the following provision:

L0:COMPETITION FOR RELIGIOUS-RELATED SERVICES (APR 2018)

L1:(a) Definition. As used in this provision?

L0:Nonprofit organization? means any organization that is?

L1:(1) Described in section 501(c) of the Internal Revenue Code of 1986; and

L1:(2) Exempt from tax under section 501(a) of that Code.

L1:(b) A nonprofit organization is not precluded from competing for a contract for religious-related services to be performed

L0:on a United States military installation notwithstanding that a nonprofit organization is not a small business concern as

L0:identified in FAR 19.000(a)(3).

L1:(c) If the apparently successful offeror has not represented in its quotation or offer that it is a small business concern
L0:identified in FAR 19.000(a)(3), as appropriate to the solicitation, the Contracting Officer will verify that the offeror is
L0:registered in the System for Award Management database as a nonprofit organization.
L0:(End of provision)

252.222-7000 Restrictions on Employment of Personnel

Status: active

L0:252.222-7000 Restrictions on Employment of Personnel.

L0:As prescribed in 222.7004 , use the following clause:

L0:RESTRICTIONS ON EMPLOYMENT OF PERSONNEL (MAR 2000)

L1:(a) The Contractor shall employ, for the purpose of performing that portion of the contract work in
_____ ,

L0:individuals who are residents thereof and who, in the case of any craft or trade, possess or would be able to acquire
L0:promptly the necessary skills to perform the contract.

L1:(b) The Contractor shall insert the substance of this clause, including this paragraph (b), in each subcontract
awarded under

L0:this contract.

L0:(End of clause)

252.222-7002 Compliance with Local Labor Laws (Overseas)

Status: active

L0:252.222-7002 Compliance with Local Labor Laws (Overseas).

L0:As prescribed in 222.7201 (a), use the following clause:

L0:COMPLIANCE WITH LOCAL LABOR LAWS (OVERSEAS) (JUN 1997)

L1:(a) The Contractor shall comply with all?

L1:(1) Local laws, regulations, and labor union agreements governing work hours; and

L1:(2) Labor regulations including collective bargaining agreements, workers' compensation, working conditions, fringe
L0:benefits, and labor standards or labor contract matters.

L1:(b) The Contractor indemnifies and holds harmless the United States Government from all claims arising out of the
L0:requirements of this clause. This indemnity includes the Contractor's obligation to handle and settle, without cost to
the

L0:United States Government, any claims or litigation concerning allegations that the Contractor or the United States
L0:Government, or both, have not fully complied with local labor laws or regulations relating to the performance of work
L0:required by this contract.

L1:(c) Notwithstanding paragraph (b) of this clause, consistent with paragraphs 31.205-15(a) and 31.205-47(d) of the
Federal

L0:Acquisition Regulation, the Contractor will be reimbursed for the costs of all fines, penalties, and reasonable
litigation

L0:expenses incurred as a result of compliance with specific contract terms and conditions or written instructions from
the

L0:Contracting Officer.

L0:(End of clause)

252.222-7003 Permit from Italian Inspectorate of Labor

Status: active

L0:252.222-7003 Permit from Italian Inspectorate of Labor.

L0:As prescribed in 222.7201 (b), use the following clause:

L0:PERMIT FROM ITALIAN INSPECTORATE OF LABOR (JUN 1997)

L0:Prior to the date set for commencement of work and services under this contract, the Contractor shall obtain the prescribed

L0:permit from the Inspectorate of Labor having jurisdiction over the work site, in accordance with Article 5g of Italian Law

L0:Number 1369, dated October 23, 1960. The Contractor shall ensure that a copy of the permit is available at all reasonable

L0:times for inspection by the Contracting Officer or an authorized representative. Failure to obtain such permit may result in

L0:termination of the contract for the convenience of the United States Government, at no cost to the United States

L0:Government.

L0:(End of clause)

252.222-7004 Compliance with Spanish Social Security Laws and Regulations

Status: active

L0:252.222-7004 Compliance with Spanish Social Security Laws and Regulations.

L0:As prescribed in 222.7201 (c), use the following clause:

L0:COMPLIANCE WITH SPANISH SOCIAL SECURITY LAWS AND REGULATIONS (JUN 1997)

L1:(a) The Contractor shall comply with all Spanish Government social security laws and regulations. Within 30 calendar days

L0:after the start of contract performance, the Contractor shall ensure that copies of the documents identified in paragraph (a)

L1:(1) through (a)(5) of this clause are available at all reasonable times for inspection by the Contracting Officer or an

L0:authorized representative. The Contractor shall retain the records in accordance with the Audit and Records clause of this

L0:contract.

L1:(1) TC1?Certificate of Social Security Payments;

L1:(2) TC2?List of Employees;

L1:(3) TC2/1?Certificate of Social Security Payments for Trainees;

L1:(4) Nominal (pay statements) signed by both the employee and the Contractor; and

L1:(5) Informa de Situacion de Empresa (Report of the Condition of the Enterprise) from the Ministerio de Trabajo y S.S.,

L0:Tesoreria General de la Seguridad Social (annotated with the pertinent contract number(s) next to the employee?s name).

L1:(b) All TC1?s, TC2?s, and TC2/1?s shall contain a representation that they have been paid by either the Social

Security

L0:Administration Office or the Contractor's bank or savings institution. Failure by the Contractor to comply with the requirements of this clause may result in termination of the contract under the clause of the contract entitled ?Default.?

L0:(End of clause)

252.222-7005 Prohibition on Use of Nonimmigrant Aliens?Guam

Status: active

L0:252.222-7005 Prohibition on Use of Nonimmigrant Aliens?Guam.

L0:As prescribed in 222.7302 , use the following clause:

L0:PROHIBITION ON USE OF NONIMMIGRANT ALIENS?GUAM (SEP 1999)

L0:The work required by this contract shall not be performed by any alien who is issued a visa or otherwise provided nonimmigrant status under Section 101(a)(15)(H)(ii) of the Immigration and Nationality Act (8 U.S.C. 1101(a)(15)(H)(ii)).

L0:This prohibition does not apply to the performance of work by lawfully admitted citizens of the freely associated states of

L0:the Republic of the Marshall Islands, the Federated States of Micronesia, or the Republic of Palau.

L0:(End of clause)

252.222-7006 Restrictions on the Use of Mandatory Arbitration Agreements

Status: active

L0:252.222-7006 Restrictions on the Use of Mandatory Arbitration Agreements.

L0:As prescribed in 222.7405 , use the following clause:

L0:RESTRICTIONS ON THE USE OF MANDATORY ARBITRATION AGREEMENTS (JAN 2023)

L1:(a) Definitions. As used in this clause-

L0:?"Covered subcontractor?" means any entity that has a subcontract valued in excess of \$1 million, except a subcontract for

L0:the acquisition of commercial products or commercial services, including commercially available off-the-shelf items.

L0:?"Subcontract?" means any contract, as defined in Federal Acquisition Regulation subpart 2.1, to furnish supplies or services

L0:for performance of this contract or a higher-tier subcontract thereunder.

L1:(b) The Contractor?

L1:(1) Agrees not to-

L1:(i) Enter into any agreement with any of its employees or independent contractors that requires, as a condition of employment, that the employee or independent contractor agree to resolve through arbitration-

L1:(A) Any claim under title VII of the Civil Rights Act of 1964; or

L1:(B) Any tort related to or arising out of sexual assault or harassment, including assault and battery, intentional infliction of

L0:emotional distress, false imprisonment, or negligent hiring, supervision, or retention; or

L1:(ii) Take any action to enforce any provision of an existing agreement with an employee or independent contractor that

L0:mandates that the employee or independent contractor resolve through arbitration-

L1:(A) Any claim under title VII of the Civil Rights Act of 1964; or

L1:(B) Any tort related to or arising out of sexual assault or harassment, including assault and battery, intentional infliction of

L0:emotional distress, false imprisonment, or negligent hiring, supervision, or retention; and

L1:(2) Certifies, by signature of the contract, that it requires each covered subcontractor to agree not to enter into, and not to

L0:take any action to enforce, any provision of any existing agreements, as described in paragraph (b)(1) of this clause, with

L0:respect to any employee or independent contractor performing work related to such subcontract.

L1:(c) The prohibitions of this clause do not apply with respect to a contractor?s or subcontractor?s agreements with employees

L0:or independent contractors that may not be enforced in a court of the United States.

L1:(d) The Secretary of Defense may waive the applicability of the restrictions of paragraph (b) of this clause in accordance

L0:with Defense Federal Acquisition Regulation Supplement 222.7404 .

L0:(End of clause)

252.223-7001 Hazard Warning Labels

Status: active

L0:252.223-7001 Hazard Warning Labels.

L0:As prescribed in 223.304 , use the following clause:

L0:HAZARD WARNING LABELS (DEC 1991)

L1:(a) ?Hazardous material,? as used in this clause, is defined in the Hazardous Material Identification and Material Safety

L0:Data clause of this contract.

L1:(b) The Contractor shall label the item package (unit container) of any hazardous material to be delivered under this L0:contract in accordance with the Hazard Communication Standard (29 CFR 1910.1200 et seq). The Standard requires that

L0:the hazard warning label conform to the requirements of the standard unless the material is otherwise subject to the

L0:labelling requirements of one of the following statutes:

L1:(1) Federal Insecticide, Fungicide and Rodenticide Act;

L1:(2) Federal Food, Drug and Cosmetics Act;

L1:(3) Consumer Product Safety Act;

L1:(4) Federal Hazardous Substances Act; or

L1:(5) Federal Alcohol Administration Act.

L1:(c) The Offeror shall list which hazardous material listed in the Hazardous Material Identification and Material Safety Data

L0:clause of this contract will be labelled in accordance with one of the Acts in paragraphs (b)(1) through (5) of this clause

L0:instead of the Hazard Communication Standard. Any hazardous material not listed will be interpreted to mean that a label

L0:is required in accordance with the Hazard Communication Standard.

L0:MATERIAL (If None, Insert ?None.?)

L0:ACT

L1:(d) The apparently successful Offeror agrees to submit, before award, a copy of the hazard warning label for all hazardous

L0:materials not listed in paragraph (c) of this clause. The Offeror shall submit the label with the Material Safety Data Sheet

L0:being furnished under the Hazardous Material Identification and Material Safety Data clause of this contract.

L1:(e) The Contractor shall also comply with MIL-STD-129, Marking for Shipment and Storage (including revisions adopted

L0:during the term of this contract).

L0:(End of clause)

252.223-7002 Safety Precautions for Ammunition and Explosives

Status: active

L0:252.223-7002 Safety Precautions for Ammunition and Explosives.

L0:As prescribed in 223.370-5 , use the following clause:

L0:SAFETY PRECAUTIONS FOR AMMUNITION AND EXPLOSIVES (NOV 2023)

L1:(a) Definition. ?Ammunition and explosives,? as used in this clause?

L1:(1) Means liquid and solid propellants and explosives, pyrotechnics, incendiaries and smokes in the following forms:

L1:(i) Bulk,

L1:(ii) Ammunition;

L1:(iii) Rockets;

L1:(iv) Missiles;

L1:(v) Warheads;

L1:(vi) Devices; and

L1:(vii) Components of (i) through (vi), except for wholly inert items.

L1:(2) This definition does not include the following, unless the Contractor is using or incorporating these materials for L0:initiation, propulsion, or detonation as an integral or component part of an explosive, an ammunition or explosive end item,

L0:or of a weapon system?

L1:(i) Inert components containing no explosives, propellants, or pyrotechnics;

L1:(ii) Flammable liquids;

L1:(iii) Acids;

L1:(iv) Oxidizers;

L1:(v) Powdered metals; or

L1:(vi) Other materials having fire or explosive characteristics.

L1:(b) Safety requirements.

L1:(1) The Contractor shall comply with the requirements of DoD Manual 4145.26, DoD Contractors? Safety Manual for L0:Ammunition and Explosives, hereafter referred to as ?the manual,? in effect on the date of the solicitation for this contract.

L0:The Contractor shall also comply with any other additional requirements included in the schedule of this contract.

L1:(2) The Contractor shall allow the Government access to the Contractor's facilities, personnel, and safety program

L0:documentation. The Contractor shall allow authorized Government representatives to evaluate safety programs,

L0:implementation, and facilities.

L1:(c) Noncompliance with the manual.

L1:(1) If the Contracting Officer notifies the Contractor of any noncompliance with the manual or schedule provisions, the

L0:Contractor shall take immediate steps to correct the noncompliance. The Contractor is not entitled to reimbursement of

L0:costs incurred to correct noncompliances unless such reimbursement is specified elsewhere in the contract.

L1:(2) The Contractor has 30 days from the date of notification by the Contracting Officer to correct the noncompliance and

L0:inform the Contracting Officer of the actions taken. The Contracting Officer may direct a different time period for the L0:correction of noncompliances.

L1:(3) If the Contractor refuses or fails to correct noncompliances within the time period specified by the Contracting Officer,

L0:the Government has the right to direct the Contractor to cease performance on all or part of this contract. The Contractor

L0:shall not resume performance until the Contracting Officer is satisfied that the corrective action was effective and the L0:Contracting Officer so informs the Contractor.

L1:(4) The Contracting Officer may remove Government personnel at any time the Contractor is in noncompliance with any

L0:safety requirement of this clause.

L1:(5) If the direction to cease work or the removal of Government personnel results in increased costs to the Contractor, the

L0:Contractor shall not be entitled to an adjustment in the contract price or a change in the delivery or performance schedule

L0:unless the Contracting Officer later determines that the Contractor had in fact complied with the manual or schedule

L0:provisions. If the Contractor is entitled to an equitable adjustment, it shall be made in accordance with the Changes clause

L0:of this contract.

L1:(d) Mishaps. If a mishap involving ammunition or explosives occurs, the Contractor shall?

L1:(1) Notify the Contracting Officer immediately;

L1:(2) Conduct an investigation in accordance with other provisions of this contract or as required by the Contracting Officer;

L0:and

L1:(3) Submit a written report to the Contracting Officer.

L1:(e) Contractor responsibility for safety.

L1:(1) Nothing in this clause, nor any Government action or failure to act in surveillance of this contract, shall relieve the L0:Contractor of its responsibility for the safety of?

L1:(i) The Contractor's personnel and property;

L1:(ii) The Government's personnel and property; or

L1:(iii) The general public.

L1:(2) Nothing in this clause shall relieve the Contractor of its responsibility for complying with applicable Federal, State, and

L0:local laws, ordinances, codes, and regulations (including those requiring the obtaining of licenses and permits) in

L0:connection with the performance of this contract.

L1:(f) Contractor responsibility for contract performance.

L1:(1) Neither the number or frequency of inspections performed by the Government, nor the degree of surveillance exercised

L0:by the Government, relieve the Contractor of its responsibility for contract performance.

L1:(2) If the Government acts or fails to act in surveillance or enforcement of the safety requirements of this contract, this does

L0:not impose or add to any liability of the Government.

L1:(g) Subcontractors.

L1:(1) The Contractor shall insert this clause, including this paragraph (g), in every subcontract that involves ammunition or

L0:explosives.

L1:(i) The clause shall include a provision allowing authorized Government safety representatives to evaluate subcontractor

L0:safety programs, implementation, and facilities as the Government determines necessary.

L1:(ii) NOTE: The Government Contracting Officer or authorized representative shall notify the prime Contractor of all

L0:findings concerning subcontractor safety and compliance with the manual. The Contracting Officer or authorized

L0:representative may furnish copies to the subcontractor. The Contractor in turn shall communicate directly with the

L0:subcontractor, substituting its name for references to "the Government". The Contractor and higher tier subcontractors shall

L0:also include provisions to allow direction to cease performance of the subcontract if a serious uncorrected or recurring

L0:safety deficiency potentially causes an imminent hazard to DoD personnel, property, or contract performance.

L1:(2) The Contractor agrees to ensure that the subcontractor complies with all contract safety requirements. The Contractor

L0:will determine the best method for verifying the adequacy of the subcontractor's compliance.

L1:(3) The Contractor shall ensure that the subcontractor understands and agrees to the Government's right to access to the

L0:subcontractor's facilities, personnel, and safety program documentation to perform safety surveys. The Government

L0:performs these safety surveys of subcontractor facilities solely to prevent the occurrence of any mishap which would

L0:endanger the safety of DoD personnel or otherwise adversely impact upon the Government's contractual interests.

L1:(4) The Contractor shall notify the Contracting Officer or authorized representative before issuing any subcontract when it

L0:involves ammunition or explosives. If the proposed subcontract represents a change in the place of performance, the

L0:Contractor shall request approval for such change in accordance with the clause of this contract entitled "Change in Place

L0:of Performance?Ammunition and Explosives?.

L0:(End of clause)

252.223-7003 Change in Place of Performance?Ammunition and Explosives

Status: active

L0:252.223-7003 Change in Place of Performance?Ammunition and Explosives.

L0:As prescribed in 223.370-5 , use the following clause:

L0:CHANGE IN PLACE OF PERFORMANCE?AMMUNITION AND EXPLOSIVES (DEC 1991)

L1:(a) The Offeror shall identify, in the "Place of Performance" provision of this solicitation, the place of performance of all

L0:ammunition and explosives work covered by the Safety Precautions for Ammunition and Explosives clause of this L0:solicitation. Failure to furnish this information with the offer may result in rejection of the offer.

L1:(b) The Offeror agrees not to change the place of performance of any portion of the offer covered by the Safety Precautions

L0:for Ammunition and Explosives clause contained in this solicitation after the date set for receipt of offers without the L0:written approval of the Contracting Officer. The Contracting Officer shall grant approval only if there is enough time for

L0:the Government to perform the necessary safety reviews on the new proposed place of performance.

L1:(c) If a contract results from this offer, the Contractor agrees not to change any place of performance previously cited

L0:without the advance written approval of the Contracting Officer.

L0:(End of clause)

252.223-7006 Prohibition on Storage, Treatment, and Disposal of Toxic or Hazardous Materials

Status: active

L0:252.223-7006 Prohibition on Storage, Treatment, and Disposal of Toxic or Hazardous Materials.

L0:Basic. As prescribed in 223.7106 and 223.7106 (a), use the following clause:

L0:PROHIBITION ON STORAGE, TREATMENT, AND DISPOSAL OF TOXIC OR HAZARDOUS MATERIALS?

L0:BASIC (SEP 2014)

L1:(a) Definitions. As used in this clause?

L0:"Storage" means a non-transitory, semi-permanent or permanent holding, placement, or leaving of material. It does not

L0:include a temporary accumulation of a limited quantity of a material used in or a waste generated or resulting from L0:authorized activities, such as servicing, maintenance, or repair of Department of Defense (DoD) items, equipment, or

L0:facilities.

L0:"Toxic or hazardous materials" means?

L1:(i) Materials referred to in section 101(14) of the Comprehensive Environmental Response, Compensation, and Liability

L0:Act (CERCLA) of 1980 (42 U.S.C. 9601(14)) and materials designated under section 102 of CERCLA (42 U.S.C. 9602)

L0:(40 CFR Part 302);

L1:(ii) Materials that are of an explosive, flammable, or pyrotechnic nature; or

L1:(iii) Materials otherwise identified by the Secretary of Defense as specified in DoD regulations.

L1:(b) In accordance with 10 U.S.C. 2692, the Contractor is prohibited from storing, treating, or disposing of toxic or L0:hazardous materials not owned by DoD on a DoD installation, except to the extent authorized by a statutory exception to

L0:10 U.S.C. 2692 or as authorized by the Secretary of Defense. A charge may be assessed for any storage or disposal

L0:authorized under any of the exceptions to 10 U.S.C. 2692. If a charge is to be assessed, then such assessment

shall be

L0:identified elsewhere in the contract with payment to the Government on a reimbursable cost basis.

L1:(c) The Contractor shall include the substance of this clause, including this paragraph (c), in all subcontracts that require,

L0:may require, or permit a subcontractor access to a DoD installation, at any subcontract tier.

L0:(End of clause)

L0:Alternate I. As prescribed in 223.7106 and 223.7106 (b), use the following clause, which adds a new paragraph (c) and

L0:revises and redesignates paragraph (c) of the basic clause as paragraph (d):

L0:PROHIBITION ON STORAGE, TREATMENT, AND DISPOSAL OF TOXIC OR HAZARDOUS MATERIALS?

L0:ALTERNATE I (SEP 2014)

L1:(a) Definitions. As used in this clause?

L0:Storage? means a non-transitory, semi-permanent or permanent holding, placement, or leaving of material. It does not

L0:include a temporary accumulation of a limited quantity of a material used in or a waste generated or resulting from

L0:authorized activities, such as servicing, maintenance, or repair of Department of Defense (DoD) items, equipment, or

L0:facilities.

L0:Toxic or hazardous materials? means?

L1:(i) Materials referred to in section 101(14) of the Comprehensive Environmental Response, Compensation, and Liability

L0:Act (CERCLA) of 1980 (42 U.S.C. 9601(14)) and materials designated under section 102 of CERCLA (42 U.S.C. 9602)

L0:(40 CFR Part 302);

L1:(ii) Materials that are of an explosive, flammable, or pyrotechnic nature; or

L1:(iii) Materials otherwise identified by the Secretary of Defense as specified in DoD regulations.

L1:(b) In accordance with 10 U.S.C. 2692, the Contractor is prohibited from storing, treating, or disposing of toxic or

L0:hazardous materials not owned by DoD on a DoD installation, except to the extent authorized by a statutory exception to

L0:10 U.S.C. 2692 or as authorized by the Secretary of Defense. A charge may be assessed for any storage or disposal

L0:authorized under any of the exceptions to 10 U.S.C. 2692. If a charge is to be assessed, then such assessment shall be

L0:identified elsewhere in the contract with payment to the Government on a reimbursable cost basis.

L1:(c) With respect to treatment or disposal authorized pursuant to DFARS 223.7104 (10) (10 U.S.C. 2692(b)(10), and

L0:notwithstanding any other provision of the contract, the Contractor assumes all financial and environmental responsibility

L0:and liability resulting from any treatment or disposal of toxic or hazardous materials not owned by DoD on a military

L0:installation. The Contractor shall indemnify, defend, and hold the Government harmless for all costs, liability, or penalties

L0:resulting from the Contractor's treatment or disposal of toxic or hazardous materials not owned by DoD on a military L0:installation.

L1:(d) The Contractor shall include the substance of this clause, including this paragraph (d), in all subcontracts that require,

L0:may require, or permit a subcontractor access to a DoD installation, at any tier. Inclusion of the substance of this

clause in

L0:subcontracts does not relieve the prime Contractor of liability to the Government under paragraph (c).

L0:(End of clause)

252.223-7007 Safeguarding Sensitive Conventional Arms, Ammunition, and Explosives

Status: active

L0:252.223-7007 Safeguarding Sensitive Conventional Arms, Ammunition, and Explosives.

L0:As prescribed in 223.7203 , use the following clause:

L0:Safeguarding Sensitive Conventional Arms, Ammunition, and Explosives (NOV 2023)

L1:(a) Definition. As used in this clause?

L0:Arms, ammunition, and explosives (AA&E), means those items within the scope of DoD Manual 5100.76, Physical

L0:Security of Sensitive Conventional Arms, Ammunition, and Explosives.

L1:(b) The requirements of DoD Manual 5100.76 apply to the following items of AA&E being developed, produced,

L0:manufactured, or purchased for the Government, or provided to the Contractor as Government-furnished property under

L0:this contract:

L0:NOMENCLATURE

L0:NATIONAL STOCK NUMBER

L0:SENSITIVITY/CATEGORY

L1:(c) The Contractor shall comply with the requirements of DoD Manual 5100.76, as specified in the statement of work. The

L0:edition of DoD Manual 5100.76 in effect on the date of issuance of the solicitation for this contract shall apply.

L1:(d) The Contractor shall allow representatives of the Defense Counterintelligence and Security Agency (DCSA), and

L0:representatives of other appropriate offices of the Government, access at all reasonable times into its facilities and those of

L0:its subcontractors, for the purpose of performing surveys, inspections, and investigations necessary to review compliance

L0:with the physical security standards applicable to this contract.

L1:(e) The Contractor shall notify the cognizant DCSA field office of any subcontract involving AA&E within 10 days after

L0:award of the subcontract.

L1:(f) Subcontracts. The Contractor shall ensure that the requirements of this clause are included in all subcontracts, at every

L0:tier?

L1:(1) For the development, production, manufacture, or purchase of AA&E; or

L1:(2) When AA&E will be provided to the subcontractor as Government-furnished property.

L1:(g) Nothing in this clause shall relieve the Contractor of its responsibility for complying with applicable Federal, state, and

L0:local laws, ordinances, codes, and regulations (including requirements for obtaining licenses and permits) in connection

L0:with the performance of this contract.

L0:(End of clause)

252.223-7008 Prohibition of Hexavalent Chromium

Status: active

L0:252.223-7008 Prohibition of Hexavalent Chromium.

L0:As prescribed in 223.7306 , use the following clause:

L0:PROHIBITION OF HEXAVALENT CHROMIUM (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Homogeneous material? means a material that cannot be mechanically disjointed into different materials and is of uniform

L0:composition throughout.

L1:(1) Examples of homogeneous materials include individual types of plastics, ceramics, glass, metals, alloys, paper, board,

L0:resins, and surface coatings.

L1:(2) Homogeneous material does not include conversion coatings that chemically modify the substrate.

L0:Mechanically disjointed? means that the materials can, in principle, be separated by mechanical actions such as

L0:unscrewing, cutting, crushing, grinding, and abrasive processes.

L1:(b) Prohibition.

L1:(1) Unless otherwise specified by the Contracting Officer, the Contractor shall not provide any deliverable or construction

L0:material under this contract that?

L1:(i) Contains hexavalent chromium in a concentration greater than 0.1 percent by weight in any homogenous material; or

L1:(ii) Requires the removal or reapplication of hexavalent chromium materials during subsequent sustainment phases of the

L0:deliverable or construction material.

L1:(2) This prohibition does not apply to hexavalent chromium produced as a by-product of manufacturing processes.

L1:(c) If authorization for incorporation of hexavalent chromium in a deliverable or construction material is required, the

L0:Contractor shall submit a request to the Contracting Officer.

L1:(d) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (d), in all subcontracts,

L0:including subcontracts for commercial products or commercial services, that are for supplies, maintenance and repair

L0:services, or construction materials.

L0:(End of clause)

252.223-7009 Prohibition of Procurement of Fluorinated Fire-Fighting Agent for Use on Military Installations

Status: active

L0:252.223-7009 Prohibition of Procurement of Fluorinated Fire-Fighting Agent for Use on Military Installations.

L0:As prescribed in 223.7404 Contract clause., use the following clause:

L0:PROHIBITION OF PROCUREMENT OF FLUORINATED AQUEOUS FILM-FORMING FOAM FIRE-FIGHTING

L0:AGENT FOR USE ON MILITARY INSTALLATIONS (MAR 2024)

L1:(a) Definitions. As used in this clause, ?perfluoroalkyl substances? and ?polyfluoroalkyl substances? have the

meanings

L0:given in section 322(f) of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L. 116-92).

L1:(b) Prohibition. The Contractor shall not provide or use under this contract any fire-fighting agent that contains

L0:perfluoroalkyl substances or polyfluoroalkyl substances in excess of one part per billion.

L1:(c) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (c), in all subcontracts,

L0:including subcontracts for commercial products and commercial services, relating to fire-fighting on a military installation.

L0:(End of clause)

252.225-7000 Buy American?Balance of Payments Program Certificate

Status: active

L0:252.225-7000 Buy American?Balance of Payments Program Certificate.

L0:Basic. As prescribed in 225.1101 (1) and (1)(i), use the following provision:

L0:BUY AMERICAN?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?BASIC (FEB 2024)

L1:(a) Definitions. ?Commercially available off-the-shelf (COTS) item,? ?component,? ?critical component,? ?critical item,?

L0:?domestic end product,? ?foreign end product,? ?qualifying country,? ?qualifying country end product,? and ?United

L0:States,? as used in this provision, have the meanings given in the 252.225-7001, Buy American and Balance of Payments

L0:Program?Basic clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of Part 225 of the Defense Federal Acquisition

L0:Regulation Supplement; and

L1:(2) Will evaluate offers of qualifying country end products without regard to the restrictions of the Buy American statute or

L0:the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American and Balance of Payments Program?Basic clause of this solicitation, the

L0:Offeror certifies that?

L1:(i) Each end product, except those listed in paragraphs (c)(2) or (3) of this provision, is a domestic end product and that

L0:each domestic end product listed in paragraph (c)(4) of this provision contains a critical component or a critical item; and

L1:(ii) For end products other than COTS items, components of unknown origin are considered to have been mined, produced,

L0:or manufactured outside the United States or a qualifying country. For those end products that do not consist wholly or

L0:predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products

L0:exceed 55 percent domestic content, except for those that are COTS items. If the percentage of the domestic

content is

L0:unknown, select ?no?.

L1:(2) The Offeror certifies that the following end products are qualifying country end products:

L0:Country of Origin

L0:Line Item Number

L1:(3) The following end products are other foreign end products, including end products manufactured in the United States

L0:that do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of

L0:iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent

L0:domestic content, except for those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.

L0:Line Item Number

L0:Country of Origin (If known)

L0:Exceeds 55%

L0:Domestic

L0:Content

L0:(yes/no)

L1:(4) The Offeror shall separately list the line item numbers of domestic end products that contain a critical component or a

L0:critical item(see Federal Acquisition Regulation 25.105).

L0:Domestic end products containing a critical component or a critical item:

L0:Line Item Number _____

L0:List as necessary

L0:(End of provision)

L0:Alternate I. As prescribed in 225.1101 (1) and (1)(ii), use the following provision, which adds ?South Caucasus/Central

L0:and South Asian (SC/CASA) state? and ?South Caucasus/Central and South Asian (SC/CASA) state end product? in

L0:paragraph (a), and replaces ?qualifying country end products? in paragraphs (b)(2) and (c)(2) with ?qualifying country end

L0:products or SC/CASA state end products?:

L0:BUY AMERICAN?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?ALTERNATE I (FEB 2024)

L1:(a) Definitions. ?Commercially available off-the-shelf (COTS) item,? ?component,? ?critical component,? ?critical item,?

L0:?domestic end product,? ?foreign end product,? ?qualifying country,? ?qualifying country end product,? ?South

L0:Caucasus/Central and South Asian (SC/CASA) state,? ?South Caucasus/Central and South Asian (SC/CASA) state end

L0:product,? and ?United States,? as used in this provision, have the meanings given in the 252.225-7001, Buy American and

L0:Balance of Payments Program?Alternate I clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition

L0:Regulation Supplement; and

L1:(2) Will evaluate offers of qualifying country end products or SC/CASA state end products without regard to the L0:restrictions of the Buy American statute or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American and Balance of Payments Program?Alternate I clause of this L0:solicitation, the Offeror certifies that?

L1:(i) Each end product, except those listed in paragraphs (c)(2) or (3) of this provision, is a domestic end product and that

L0:each domestic end product listed in paragraph (c)(4) of this provision contains a critical component or a critical item; and

L1:(ii) For end products other than COTS items, components of unknown origin are considered to have been mined, produced,

L0:or manufactured outside the United States or a qualifying country. For those end products that do not consist wholly or

L0:predominantly of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products

L0:exceed 55 percent domestic content, except for those that are COTS items. If the percentage of the domestic content is

L0:unknown, select ?no?.

L1:(2) The Offeror certifies that the following end products are qualifying country end products or SC/CASA state end L0:products:

L0:Line Item Number

L0:Country of Origin

L1:(3) The following end products are other foreign end products, including end products manufactured in the United States

L0:that do not qualify as domestic end products . For those foreign end products that do not consist wholly or predominantly

L0:of iron or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55

L0:percent domestic content, except for those that are COTS items. If the percentage of the domestic content is unknown,

L0:select ?no?.

L0:Line Item Number

L0:Country of Origin (If known)

L0:Exceeds 55% Domestic Content (yes/no)

L1:(4) The Offeror shall separately list the line item numbers of domestic end products that contain a critical component or a

L0:critical item (see Federal Acquisition Regulation 25.105).

L0:Domestic end products containing a critical component or a critical item: Line Item Number

L0: _____

L0:List as necessary

L0:(End of provision)

252.225-7001 Buy American and Balance of Payments Program

Status: active

L0:252.225-7001 Buy American and Balance of Payments Program.

L0:Basic. As prescribed in 225.1101 (2)(i) and (2)(ii), use the following clause:

L0:BUY AMERICAN AND BALANCE OF PAYMENTS PROGRAM?BASIC(FEB 2024)

L1:(a) Definitions.As used in this clause?

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in

L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means a domestic construction material or domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the

L0:United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an

L0:alternate percentage is established for a contract in accordance with FAR 25.101(d), or award is made before January 1,

L0:2030, for a foreign end product that exceeds 55 percent domestic content (see Defense Federal Acquisition Regulation

L0:Supplement 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation into the end

L0:product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as

L0:foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component

L0:is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact)

if the

L0:end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for

L0:which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or

L0:manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item.

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

L0:manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country

L0:constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a

L0:qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a

L0:qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not

L0:produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products

L0:(such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying

L0:country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components

L0:not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown

L0:origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end

L0:product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:Foreign end product? means an end product other than a domestic end product.

L0:Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if ?

L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the

L0:percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:starting in calendar year 2029, unless an alternate percentage is established for a contract:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L1:(b) This clause implements 41 U.S.C. chapter 83, Buy American. In accordance with 41 U.S.C. 1907, the component test

L0:of the Buy American statute is waived for an end product that is a COTS item (see FAR 12.505(a)(1)). Unless otherwise

L0:specified, this clause applies to all line items in the contract.

L1:(c) The Contractor shall deliver only domestic end products unless, in its offer, it specified delivery of other end products in

L0:the Buy American?Balance of Payments Program Certificate provision of the solicitation. If the Contractor certified in its

L0:offer that it will deliver a qualifying country end product, the Contractor shall deliver a qualifying country end product or,

L0:at the Contractor?s option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L0:(End of clause)

L0:Alternate I. As prescribed in 225.1101 (2)(i) and (2)(iii), use the following clause, which adds ?South Caucasus/Central and

L0:South Asian (SC/CASA) state? and ?South Caucasus/Central and South Asian (SC/CASA) state end product? to paragraph

L1:(a), and uses different paragraphs (b) and (c) than the basic clause:

L0:BUY AMERICAN AND BALANCE OF PAYMENTS PROGRAM?ALTERNATE I (FEB 2024)

L1:(a) Definitions.As used in this clause?

L0:Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:Component? means an article, material, or supply incorporated directly into an end product.

L0:Critical component ? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:Critical item? means a domestic construction material or domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?]

L1:(i) An unmanufactured end product that has been mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the

L0:United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an

L0:alternate percentage is established for a contract in accordance with FAR 25.101(d)), or award is made before January 1,

L0:2030, for a foreign end product that exceeds 55 percent domestic content (see Defense Federal Acquisition Regulation

L0:Supplement 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation into the end

L0:product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin are treated as

L0:foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic. A component

L0:is considered to have been mined, produced, or manufactured in the United States (regardless of its source in fact) if the

L0:end product in which it is incorporated is manufactured in the United States and the component is of a class or kind for

L0:which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or

L0:manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item.

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

L0:manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country

L0:constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a

L0:qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a

L0:qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not

L0:produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products

L0:(such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying

L0:country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components

L0:not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown

L0:origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end

L0:product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:“End product” means those articles, materials, and supplies to be acquired under this contract for public use.

L0:“Foreign end product” means an end product other than a domestic end product.

L0:“Predominantly of iron or steel or a combination of both” means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:“Qualifying country” means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if ?

L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the

L0:percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:starting in calendar year 2029, unless an alternate percentage is established for a contract:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan,

L0:Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from

L0:that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a L0:supply contract, but for purposes of calculating the value of the end product includes services (except transportation L0:services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) This clause implements the Balance of Payments Program. Unless otherwise specified, this clause applies to all line

L0:items in the contract.

L1:(c) The Contractor shall deliver only domestic end products unless, in its offer, it specified delivery of other end products in

L0:the Buy American Balance of Payments Program Certificate provision of the solicitation. If the Contractor certified in its

L0:offer that it will deliver a qualifying country end product or an SC/CASA state end product, the Contractor shall deliver a

L0:qualifying country end product, an SC/CASA state end product, or, at the Contractor's option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L0:(End of clause)

L0:Alternate II. As prescribed in 225.1101(2)(i) and (2)(iv), use the following clause, which includes, in the definitions of L0:domestic end product at paragraph (1)(ii)(A) and qualifying country end product at paragraph (2)(i), the domestic

L0:content threshold that will apply to the entire contract period of performance.

L0:BUY AMERICAN AND BALANCE OF PAYMENTS PROGRAM? ALTERNATE II (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of commercial product in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in

L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:Component? means an article, material, or supply incorporated directly into an end product.

L0:Critical component? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:Critical item? means a domestic construction material or domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the

L0:United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the

L0:cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year

L0:2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place

L0:of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of

L0:unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is

L0:considered domestic.A component is considered to have been mined, produced, or manufactured in the United States

L0:(regardless of its source in fact) if the end product in which it is incorporated ismanufactured in the United States and the

L0:component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or L0:manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

L0:manufactured in the United States, if the cost of iron and steel not produced in the United Statesor a qualifying

L0:countryconstitutes less than 5 percent of the cost of all the components used in the end product (produced in the United

L0:States or a qualifying country means that all manufacturing processes of the iron or steel must take place in the United

L0:Statesor a qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and

L0:steel not produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill

L0:products (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a

L0:qualifying country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel

L0:components not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components

L0:of unknown origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used

L0:in such end product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this

L0:definition.

L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:?Foreign end product? means an end product other than a domestic end product.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1)An unmanufactured end product mined or produced in a qualifying country; or

L1:(2)An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in

L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost

L0:of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B)Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) This clause implements 41 U.S.C. chapter 83, Buy American. In accordance with 41 U.S.C. 1907, the component test

L0:of the Buy American statute is waived for an end product that is a COTS item (see FAR 12.505(a)(1)). Unless otherwise

L0:specified, this clause applies to all line items in the contract.

L1:(c) The Contractor shall deliver only domestic end products unless, in its offer, it specified delivery of other end products in

L0:the Buy American?Balance of Payments Program Certificate provision of the solicitation. If the Contractor certified in its

L0:offer that it will deliver a qualifying country end product, the Contractor shall deliver a qualifying country end product or,

L0:at the Contractor?s option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L0:(End of clause)

L0:Alternate III. As prescribed in 225.1101(2)(i) and (2)(v), use the following clause, which includes, in the definitions of L0:domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i), the domestic

L0:content threshold that will apply to the entire contract period of performance; adds ?South Caucasus/Central and South

L0:Asian (SC/CASA) state? and ?South Caucasus/Central and South Asian (SC/CASA) state end product? to paragraph (a);

L0:and uses different paragraphs (b) and (c) than the basic clause:

L0:BUY AMERICAN AND BALANCE OF PAYMENTS PROGRAM?ALTERNATE III (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:Component? means an article, material, or supply incorporated directly into an end product.

L0:Critical component? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:Critical item? means a domestic construction material or domestic end product that is deemed critical to the U.S.

supply

L0:chain. The list of critical items is at FAR 25.105.

L0:Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the

L0:United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the

L0:cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year

L0:2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place

L0:of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of

L0:unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is

L0:considered domestic. A component is considered to have been mined, produced, or manufactured in the United States

L0:(regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the

L0:component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or

L0:manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

L0:manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country

L0:constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a

L0:qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a

L0:qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not

L0:produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products

L0:(such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying

L0:country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components

L0:not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown

L0:origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in

such end

L0:product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:“End product” means those articles, materials, and supplies to be acquired under this contract for public use.

L0:“Foreign end product” means an end product other than a domestic end product.

L0:“Predominantly of iron or steel or a combination of both” means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:“Qualifying country” means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:

L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost

L0:of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan,

L0:Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from

L0:that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a

L0:supply contract, but for purposes of calculating the value of the end product includes services (except transportation

L0:services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) This clause implements the Balance of Payments Program. Unless otherwise specified, this clause applies to all line

L0:items in the contract.

L1:(c) The Contractor shall deliver only domestic end products unless, in its offer, it specified delivery of other end products in

L0:the Buy American/Balance of Payments Program Certificate provision of the solicitation. If the Contractor certified in its

L0:offer that it will deliver a qualifying country end product or an SC/CASA state end product, the Contractor shall deliver a

L0:qualifying country end product, an SC/CASA state end product, or, at the Contractor's option, a domestic end

product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L0:(End of clause)

252.225-7002 Qualifying Country Sources as Subcontractors

Status: active

L0:252.225-7002 Qualifying Country Sources as Subcontractors.

L0:As prescribed in 225.1101 (3), use the following clause:

L0:QUALIFYING COUNTRY SOURCES AS SUBCONTRACTORS (MAR 2022)

L1:(a) Definition. "Qualifying country," as used in this clause, means a country with a reciprocal defense procurement

L0:memorandum of understanding or international agreement with the United States in which both countries agree to remove

L0:barriers to purchases of supplies produced in the other country or services performed by sources of the other country, and

L0:the memorandum or agreement complies, where applicable, with the requirements of section 36 of the Arms Export

L0:Control Act (22 U.S.C. 2776) and with 10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L1:(b) Subject to the restrictions in section 225.872 of the Defense FAR Supplement, the Contractor shall not preclude

L0:qualifying country sources or U.S. sources from competing for subcontracts under this contract.

L0:(End of clause)

252.225-7003 Report of Intended Performance Outside the United States and Canada?Submission with Offer

Status: active

L0:252.225-7003 Report of Intended Performance Outside the United States and Canada?Submission with Offer.

L0:As prescribed in 225.7204 (a), use the following provision:

L0:REPORT OF INTENDED PERFORMANCE OUTSIDE THE UNITED STATES AND CANADA?SUBMISSION

L0:WITH OFFER (OCT 2025)

L1:(a) Definition. ?United States,? as used in this provision, means the 50 States, the District of Columbia, and outlying areas.

L1:(b) The Offeror shall submit, with its offer, a report of intended performance outside the United States and Canada if?

L1:(1) The offer exceeds \$20 million in value; and

L1:(2) The Offeror is aware that the Offeror or a first-tier subcontractor intends to perform any part of the contract outside the

L0:United States and Canada that?

L1:(i) Exceeds \$900,000 in value; and

L1:(ii) Could be performed inside the United States or Canada.

L1:(c) Information to be reported includes that for?

L1:(1) Subcontracts;

L1:(2) Purchases; and

L1:(3) Intracompany transfers when transfers originate in a foreign location.

L1:(d) The Offeror shall submit the report using?

L1:(1) DD Form 2139, Report of Contract Performance Outside the United States; or

L1:(2) A computer-generated report that contains all information required by DD Form 2139.

L1:(e) The Offeror may obtain a copy of DD Form 2139 from the Contracting Officer or via the Internet at

L0:<http://www.dtic.mil/whs/directives/infomgt/forms/formsprogram.htm>.

L0:(End of provision)

252.225-7004 Report of Intended Performance Outside the United States and Canada?Submission after Award

Status: active

L0:252.225-7004 Report of Intended Performance Outside the United States and Canada?Submission after Award.

L0:As prescribed in 225.7204 (b), use the following clause:

L0:REPORT OF INTENDED PERFORMANCE OUTSIDE THE UNITED STATES AND CANADA?SUBMISSION

L0:AFTER AWARD (JUL 2024)

L1:(a) Definition. "United States," as used in this clause, means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Reporting requirement. The Contractor shall submit a report in accordance with this clause, if the Contractor or a first-tier subcontractor will perform any part of this contract outside the United States and Canada that?

L1:(1) Exceeds the threshold specified in Defense Acquisition Regulation Supplement 225.7201 Policy. (a); and

L1:(2) Could be performed inside the United States or Canada.

L1:(c) Submission of reports. The Contractor?

L1:(1) Shall submit a report as soon as practical after the information is known;

L1:(2) To the maximum extent practicable, shall submit a report regarding a first-tier subcontractor at least 30 days before

L0:award of the subcontract;

L1:(3) Need not resubmit information submitted with its offer, unless the information changes;

L1:(4) Shall submit all reports to the Contracting Officer; and

L1:(5) Shall submit a copy of each report to: Principal Director, Defense Pricing, Contracting, and Acquisition Policy

L0:(Contract Policy), OUSD(A&S) DPCAP/CP, Washington, DC 20301-3060.

L1:(d) Report format. The Contractor?

L1:(1) Shall submit reports using?

L1:(i) DD Form 2139, Report of Contract Performance Outside the United States; or

L1:(ii) A computer-generated report that contains all information required by DD Form 2139; and

L1:(2) May obtain copies of DD Form 2139 from the Contracting Officer or via the Internet at <https://www.esd.whs.mil/>

L0:Directives/forms/ .

L0:(End of clause)

252.225-7005 Identification of Expenditures in the United States*Status: active*

L0:252.225-7005 Identification of Expenditures in the United States.

L0:As prescribed in 225.1103 (1), use the following clause:

L0:IDENTIFICATION OF EXPENDITURES IN THE UNITED STATES (JUN 2005)

L1:(a) Definition. "United States," as used in this clause, means the 50 States, the District of Columbia, and outlying areas.

L1:(b) This clause applies only if the Contractor is?

L1:(1) A concern incorporated in the United States (including a subsidiary that is incorporated in the United States, even if the

L0:parent corporation is not incorporated in the United States); or

L1:(2) An unincorporated concern having its principal place of business in the United States.

L1:(c) On each invoice, voucher, or other request for payment under this contract, the Contractor shall identify that part of the

L0:requested payment that represents estimated expenditures in the United States. The identification?

L1:(1) May be expressed either as dollar amounts or as percentages of the total amount of the request for payment;

L1:(2) Should be based on reasonable estimates; and

L1:(3) Shall state the full amount of the payment requested, subdivided into the following categories:

L1:(i) U.S. products?expenditures for material and equipment manufactured or produced in the United States, including

end

L0:products, components, or construction material, but excluding transportation;

L1:(ii) U.S. services?expenditures for services performed in the United States, including all charges for overhead, other

L0:indirect costs, and profit under construction or service contracts;

L1:(iii) Transportation on U.S. carriers?expenditures for transportation furnished by U.S. flag, ocean, surface, and air

L0:carriers; and

L1:(iv) Expenditures not identified under paragraphs (c)(3)(i) through (iii) of this clause.

L1:(d) Nothing in this clause requires the establishment or maintenance of detailed accounting records or gives the U.S.

L0:Government any right to audit the Contractor's books or records.

L0:(End of clause)

252.225-7006 Acquisition of the American Flag

Status: active

L0:252.225-7006 Acquisition of the American Flag.

L0:As prescribed in 225.7002-3 (c), insert the following clause:

L0:ACQUISITION OF THE AMERICAN FLAG (DEC 2022)

L1:(a) Definition. ?United States,? as used in this clause, means the 50 States, the District of Columbia, and outlying areas.

L1:(b) If the Contractor is required to deliver under this contract one or more American flags (Product or Service Code 8345),

L0:such flag(s), including the materials and components thereof, shall be manufactured in the United States, consistent with

L0:the requirements at 10 U.S.C. 4862 (commonly known as the ?Berry Amendment?).

L1:(c) This clause does not apply to the acquisition of any end items or components related to flying or displaying the flag

L0:(e.g., flagpoles and accessories).

L0:(End of clause)

252.225-7007 Prohibition on Acquisition of Certain Items from Communist Chinese Military Companies

Status: active

L0:252.225-7007 Prohibition on Acquisition of Certain Items from Communist Chinese Military Companies.

L0:As prescribed in 225.1103 (4), use the following clause:

L0:PROHIBITION ON ACQUISITION OF CERTAIN ITEMS FROM COMMUNIST CHINESE MILITARY COMPANIES

L0:(DEC 2018)

L1:(a) Definitions. As used in this clause?

L0:?600 series of the Commerce Control List? means the series of 5-character export control classification numbers (ECCNs)

L0:of the Commerce Control List of the Export Administration Regulations in 15 CFR part 774, supplement No. 1. that have a

L0:?6? as the third character. The 600 series constitutes the munitions and munitions-related ECCNs within the larger

L0:Commerce Control List. (See definition of "600 series" in 15 CFR 772.)

L0:"Communist Chinese military company" means any entity, regardless of geographic location that is?

L1:(1) A part of the commercial or defense industrial base of the People's Republic of China including a subsidiary or affiliate

L0:of such entity; or

L1:(2) Owned or controlled by, or affiliated with, an element of the Government or armed forces of the People's Republic of

L0:China.

L0:"Item" means?

L1:(1) A USML defense article, as defined at 22 CFR 120.6;

L1:(2) A USML defense service, as defined at 22 CFR 120.9; or

L1:(3) A 600 series item, as defined at 15 CFR 772.1.

L0:"United States Munitions List" means the munitions list of the International Traffic in Arms Regulation in 22 CFR part

L0:121.

L1:(b) Any items covered by the United States Munitions List or the 600 series of the Commerce Control List that are

L0:delivered under this contract may not be acquired, directly or indirectly, from a Communist Chinese military company.

L1:(c) The Contractor shall insert the substance of this clause, including this paragraph (c), in all subcontracts for items

L0:covered by the United States Munitions List or the 600 series of the Commerce Control List.

L0:(End of clause)

252.225-7008 Restriction on Acquisition of Specialty Metals

Status: active

L0:252.225-7008 Restriction on Acquisition of Specialty Metals.

L0:As prescribed in 252.7003-5 (a)(1), use the following clause:

L0:RESTRICTION ON ACQUISITION OF SPECIALTY METALS (MAR 2013)

L1:(a) Definitions. As used in this clause?

L0:"Alloy" means a metal consisting of a mixture of a basic metallic element and one or more metallic, or non-metallic, alloying elements.

L1:(i) For alloys named by a single metallic element (e.g., titanium alloy), it means that the alloy contains 50 percent or more

L0:of the named metal (by mass).

L1:(ii) If two metals are specified in the name (e.g., nickel-iron alloy), those metals are the two predominant elements in the

L0:alloy, and together they constitute 50 percent or more of the alloy (by mass).

L0:"Produce" means?

L1:(i) Atomization;

L1:(ii) Sputtering; or

L1:(iii) Final consolidation of non-melt derived metal powders.

L0:"Specialty metal" means?

L1:(i) Steel?

L1:(A) With a maximum alloy content exceeding one or more of the following limits: manganese, 1.65 percent; silicon,

0.60

L0:percent; or copper, 0.60 percent; or

L1:(B) Containing more than 0.25 percent of any of the following elements: aluminum, chromium, cobalt, molybdenum,

L0:nickel, niobium (columbium), titanium, tungsten, or vanadium;

L1:(ii) Metal alloys consisting of?

L1:(A) Nickel or iron-nickel alloys that contain a total of alloying metals other than nickel and iron in excess of 10 percent; or

L1:(B) Cobalt alloys that contain a total of alloying metals other than cobalt and iron in excess of 10 percent;

L1:(iii) Titanium and titanium alloys; or

L1:(iv) Zirconium and zirconium alloys.

L0:Steel? means an iron alloy that includes between .02 and 2 percent carbon and may include other elements.

L1:(b) Any specialty metal delivered under this contract shall be melted or produced in the United States or its outlying areas.

L0:(End of clause)

252.225-7009 Restriction on Acquisition of Certain Articles Containing Specialty Metals

Status: active

L0:252.225-7009 Restriction on Acquisition of Certain Articles Containing Specialty Metals.

L0:As prescribed in 225.7003-5(a)(2), use the following clause:

L0:Restriction on Acquisition of Certain Articles Containing Specialty Metals (JAN 2023)

L1:(a) Definitions. As used in this clause ?Alloy? means a metal consisting of a mixture of a basic metallic element and one or more metallic, or non-metallic,

L0:alloying elements.

L1:(i) For alloys named by a single metallic element (e.g., titanium alloy), it means that the alloy contains 50 percent or more

L0:of the named metal (by mass).

L1:(ii) If two metals are specified in the name (e.g., nickel-iron alloy), those metals are the two predominant elements in the

L0:alloy, and together they constitute 50 percent or more of the alloy (by mass).

L0:Assembly? means an item forming a portion of a system or subsystem that?

L1:(i) Can be provisioned and replaced as an entity; and

L1:(ii) Incorporates multiple, replaceable parts.

L0:Commercial derivative military article? means an item acquired by the Department of Defense that is or will be produced

L0:using the same production facilities, a common supply chain, and the same or similar production processes that are used for

L0:the production of articles predominantly used by the general public or by nongovernmental entities for purposes other than

L0:governmental purposes.

L0:Commercially available off-the-shelf item??

L1:(i) Means any item of supply that is (A) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation);

L1:(B) Sold in substantial quantities in the commercial marketplace; and

L1:(C) Offered to the Government, under this contract or a subcontract at any tier, without modification, in the same form in

L0:which it is sold in the commercial marketplace; and

L1:(ii) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?"Component?" means any item supplied to the Government as part of an end item or of another component.

L0:?"Electronic component?" means an item that operates by controlling the flow of electrons or other electrically charged

L0:particles in circuits, using interconnections of electrical devices such as resistors, inductors, capacitors, diodes, switches,

L0:transistors, or integrated circuits. The term does not include structural or mechanical parts of an assembly containing an

L0:electronic component, and does not include any high performance magnets that may be used in the electronic component.

L0:?"End item?" means the final production product when assembled or completed and ready for delivery under a line item of

L0:this contract.

L0:?"High performance magnet?" means a permanent magnet that obtains a majority of its magnetic properties from rare earth

L0:metals (such as samarium).

L0:?"Produce?" means?

L1:(i) Atomization;

L1:(ii) Sputtering; or

L1:(iii) Final consolidation of non-melt derived metal powders.

L0:?"Qualifying country?" means any country listed in the definition of ?"Qualifying country?" at 225.003 of the Defense Federal

L0:Acquisition Regulation Supplement (DFARS).

L0:?"Specialty metal?" means?

L1:(i) Steel?

L1:(A) With a maximum alloy content exceeding one or more of the following limits: manganese, 1.65 percent; silicon, 0.60

L0:percent; or copper, 0.60 percent; or

L1:(B) Containing more than 0.25 percent of any of the following elements: aluminum, chromium, cobalt, molybdenum,

L0:nickel, niobium (columbium), titanium, tungsten, or vanadium;

L1:(ii) Metal alloys consisting of?

L1:(A) Nickel or iron-nickel alloys that contain a total of alloying metals other than nickel and iron in excess of 10 percent; or

L1:(B) Cobalt alloys that contain a total of alloying metals other than cobalt and iron in excess of 10 percent;

L1:(iii) Titanium and titanium alloys; or

L1:(iv) Zirconium and zirconium alloys.

L0:?"Steel?" means an iron alloy that includes between .02 and 2 percent carbon and may include other elements.

L0:?"Subsystem?" means a functional grouping of items that combine to perform a major function within an end item, such as

L0:electrical power, attitude control, and propulsion.

L1:(b) Restriction. Except as provided in paragraph (c) of this clause, any specialty metals incorporated in items delivered

L0: under this contract shall be melted or produced in the United States, its outlying areas, or a qualifying country.

L1:(c) Exceptions. The restriction in paragraph (b) of this clause does not apply to?

L1:(1) Electronic components.

L1:(2)(i) Commercially available off-the-shelf (COTS) items, other than?

L1:(A) Specialty metal mill products, such as bar, billet, slab, wire, plate, or sheet, that have not been incorporated into COTS

L0: end items, subsystems, assemblies, or components;

L1:(B) Forgings or castings of specialty metals, unless the forgings or castings are incorporated into COTS end items,

L0: subsystems, or assemblies;

L1:(C) Commercially available high performance magnets that contain specialty metal, unless such high performance magnets

L0: are incorporated into COTS end items or subsystems; and

L1:(D) COTS fasteners, unless?

L1:(1) The fasteners are incorporated into COTS end items, subsystems, assemblies, or components; or

L1:(2) The fasteners qualify for the commercial item exception in paragraph (c)(3) of this clause.

L1:(ii) A COTS item is considered to be "without modification" if it is not modified prior to contractual acceptance by the next

L0: higher tier in the supply chain.

L1:(A) Specialty metals in a COTS item that was accepted without modification by the next higher tier are excepted from the

L0: restriction in paragraph (b) of this clause, and remain excepted, even if a piece of the COTS item subsequently is removed

L0: (e.g., the end is removed from a COTS screw or an extra hole is drilled in a COTS bracket).

L1:(B) Specialty metals that were not contained in a COTS item upon acceptance, but are added to the COTS item after

L0: acceptance, are subject to the restriction in paragraph (b) of this clause (e.g., a special reinforced handle made of specialty

L0: metal is added to a COTS item).

L1:(C) If two or more COTS items are combined in such a way that the resultant item is not a COTS item, only the specialty

L0: metals involved in joining the COTS items together are subject to the restriction in paragraph (b) of this clause (e.g., a

L0: COTS aircraft is outfitted with a COTS engine that is not the COTS engine normally provided with the aircraft).

L1:(D) For COTS items that are normally sold in the commercial marketplace with various options, items that include such

L0: options are also COTS items. However, if a COTS item is offered to the Government with an option that is not normally

L0: offered in the commercial marketplace, that option is subject to the restriction in paragraph (b) of this clause (e.g., - An

L0: aircraft is normally sold to the public with an option for installation kits. The Department of Defense requests a military-unique kit. The aircraft is still a COTS item, but the military-unique kit is not a COTS item and must comply with the

L0: restriction in paragraph (b) of this clause unless another exception applies).

L1:(3) Fasteners that are commercial products, if the manufacturer of the fasteners certifies it will purchase, during the L0:relevant calendar year, an amount of domestically melted or produced specialty metal, in the required form, for use in the

L0:production of fasteners for sale to the Department of Defense and other customers, that is not less than 50 percent of the

L0:total amount of the specialty metal that it will purchase to carry out the production of such fasteners for all customers.

L1:(4) Items manufactured in a qualifying country.

L1:(5) Specialty metals for which the Government has determined in accordance with DFARS 225.7003-3 that specialty metal

L0:melted or produced in the United States, its outlying areas, or a qualifying country cannot be acquired as and when needed

L0:in?

L1:(i) A satisfactory quality;

L1:(ii) A sufficient quantity; and

L1:(iii) The required form. In accordance with 10 U.S.C. 4863(m)(4), the term "required form" in this clause refers to the form

L0:of the mill product, such as bar, billet, wire, slab, plate, or sheet, in the grade appropriate for the production of a finished

L0:end item to be delivered to the Government under this contract; or a finished component assembled into an end item to be

L0:delivered to the Government under this contract.

L1:(6) End items containing a minimal amount of otherwise noncompliant specialty metals (i.e., specialty metals not melted or

L0:produced in the United States, an outlying area, or a qualifying country, that are not covered by one of the other exceptions

L0:in this paragraph (c)), if the total weight of such noncompliant metals does not exceed 2 percent of the total weight of all

L0:specialty metals in the end item, as estimated in good faith by the Contractor. This exception does not apply to high

L0:performance magnets containing specialty metals.

L1:(d) Compliance for commercial derivative military articles.

L1:(1) As an alternative to the compliance required in paragraph (b) of this clause, the Contractor may purchase an amount of

L0:domestically melted or produced specialty metals in the required form, for use during the period of contract performance in

L0:the production of the commercial derivative military article and the related commercial article, if?

L1:(i) The Contracting Officer has notified the Contractor of the items to be delivered under this contract that have been

L0:determined by the Government to meet the definition of "commercial derivative military article"; and

L1:(ii) For each item that has been determined by the Government to meet the definition of "commercial derivative military

L0:article," the Contractor has certified, as specified in the provision of the solicitation entitled "Commercial Derivative

L0:Military Article"Specialty Metals Compliance Certificate" (DFARS 252.225-7010), that the Contractor and its

L0:subcontractor(s) will enter into a contractual agreement or agreements to purchase an amount of domestically melted or

L0:produced specialty metal in the required form, for use during the period of contract performance in the production of

each

L0:commercial derivative military article and the related commercial article, that is not less than the Contractor's good faith

L0:estimate of the greater of?

L1:(A) An amount equivalent to 120 percent of the amount of specialty metal that is required to carry out the production of the

L0:commercial derivative military article (including the work performed under each subcontract); or

L1:(B) An amount equivalent to 50 percent of the amount of specialty metal that will be purchased by the Contractor and its

L0:subcontractors for use during such period in the production of the commercial derivative military article and the related

L0:commercial article.

L1:(2) For the purposes of this alternative, the amount of specialty metal that is required to carry out production of the L0:commercial derivative military article includes specialty metal contained in any item, including COTS items.

L1:(e) Subcontracts.

L1:(1) The Contractor shall exclude and reserve paragraph (d) and this paragraph (e)(1) when flowing down this clause to

L0:subcontracts.

L1:(2) The Contractor shall insert paragraphs (a) through (c) and this paragraph (e)(2) of this clause in subcontracts, including

L0:subcontracts for commercial products, that are for items containing specialty metals to ensure compliance of the end

L0:products that the Contractor will deliver to the Government. When inserting this clause in subcontracts, the Contractor

L0:shall?

L1:(i) Modify paragraph (c)(6) of this clause only as necessary to facilitate management of the minimal content exception at

L0:the prime contract level. The minimal content exception does not apply to specialty metals contained in high-performance

L0:magnets; and

L1:(ii) Not further alter the clause other than to identify the appropriate parties.

L0:(End of clause)

252.225-7010 Commercial Derivative Military Article?Specialty Metals Compliance Certificate

Status: active

L0:252.225-7010 Commercial Derivative Military Article?Specialty Metals Compliance Certificate.

L0:As prescribed in 225.7003-5 (b), use the following provision:

L0:COMMERCIAL DERIVATIVE MILITARY ARTICLE?SPECIALTY METALS COMPLIANCE CERTIFICATE (JUL
L0:2009)

L1:(a) Definitions. ?Commercial derivative military article,? ?commercially available off-the-shelf item,? ?produce,? ?required

L0:form,? and ?specialty metal,? as used in this provision, have the meanings given in the clause of this solicitation entitled

L0: ?Restriction on Acquisition of Certain Articles Containing Specialty Metals? (DFARS 252.225-7009).

L1:(b) The offeror shall list in this paragraph any commercial derivative military articles it intends to deliver under any contract resulting from this solicitation using the alternative compliance for commercial derivative military articles, as specified in paragraph (d) of the clause of this solicitation entitled ?Restriction on Acquisition of Certain Articles Containing Specialty Metals? (DFARS 252.225-7009). The offeror?s designation of an item as a ?commercial derivative

military article? will be subject to Government review and approval.

L0: _____

L0: _____.

L1:(c) If the offeror has listed any commercial derivative military articles in paragraph (b) of this provision, the offeror certifies that, if awarded a contract as a result of this solicitation, and if the Government approves the designation of the

listed item(s) as commercial derivative military articles, the offeror and its subcontractor(s) will demonstrate that individually or collectively they have entered into a contractual agreement or agreements to purchase an amount of domestically melted or produced specialty metal in the required form, for use during the period of contract performance in

the production of each commercial derivative military article and the related commercial article, that is not less than the

Contractor?s good faith estimate of the greater of?

L1:(1) An amount equivalent to 120 percent of the amount of specialty metal that is required to carry out the production of the

commercial derivative military article (including the work performed under each subcontract); or

L1:(2) An amount equivalent to 50 percent of the amount of specialty metal that will be purchased by the Contractor and its

subcontractors for use during such period in the production of the commercial derivative military article and the related

commercial article.

L1:(d) For the purposes of this provision, the amount of specialty metal that is required to carry out the production of the commercial derivative military article includes specialty metal contained in any item, including commercially available off-the-shelf items, incorporated into such commercial derivative military articles.

L0:(End of provision)

252.225-7011 Restriction on Acquisition of Supercomputers

Status: active

L0:252.225-7011 Restriction on Acquisition of Supercomputers.

L0:As prescribed in 252.7012-3 , use the following clause:

L0:RESTRICTION ON ACQUISITION OF SUPERCOMPUTERS (JUN 2005)

L0:Supercomputers delivered under this contract shall be manufactured in the United States or its outlying areas.

L0:(End of clause)

252.225-7012 Preference for Certain Domestic Commodities

Status: active

L0:252.225-7012 Preference for Certain Domestic Commodities.

L0:As prescribed in 225.7002-3 (a), use the following clause:

L0:PREFERENCE FOR CERTAIN DOMESTIC COMMODITIES (APR 2022)

L1:(a) Definitions. As used in this clause?

L0:?"Component?" means any item supplied to the Government as part of an end product or of another component.

L0:?"End product?" means supplies delivered under a line item of this contract.

L0:"Qualifying country" means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:?"Structural component of a tent?"

L1:(1) Means a component that contributes to the form and stability of the tent (e.g., poles, frames, flooring, guy ropes, pegs);

L0:and

L1:(2) Does not include equipment such as heating, cooling, or lighting.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L0:U.S.-flag vessel? means a vessel of the United States or belonging to the United States, including any vessel registered or

L0:having national status under the laws of the United States.

L1:(b) The Contractor shall deliver under this contract only such of the following items, either as end products or components,

L0:that have been grown, reprocessed, reused, or produced in the United States:

L1:(1) Food.

L1:(2) Clothing and the materials and components thereof, other than sensors, electronics, or other items added to, and not

L0:normally associated with, clothing and the materials and components thereof. Clothing includes items such as outerwear,

L0:headwear, underwear, nightwear, footwear, hosiery, handwear, belts, badges, and insignia.

L1:(3)(i) Tents and structural components of tents;

L1:(ii) Tarpaulins; or

L1:(iii) Covers.

L1:(4) Cotton and other natural fiber products.

L1:(5) Woven silk or woven silk blends.

L1:(6) Spun silk yarn for cartridge cloth.

L1:(7) Synthetic fabric, and coated synthetic fabric, including all textile fibers and yarns that are for use in such fabrics.

L1:(8) Canvas products.

L1:(9) Wool (whether in the form of fiber or yarn or contained in fabrics, materials, or manufactured articles).

L1:(10) Any item of individual equipment (Federal Supply Class 8465) manufactured from or containing fibers, yarns, fabrics,

L0:or materials listed in this paragraph (b).

L1:(c) This clause does not apply?

L1:(1) To items listed in section 25.104(a) of the Federal Acquisition Regulation (FAR), or other items for which the L0:Government has determined that a satisfactory quality and sufficient quantity cannot be acquired as and when needed at

L0:U.S. market prices;

L1:(2) To incidental amounts of cotton, other natural fibers, or wool incorporated in an end product, for which the estimated

L0:value of the cotton, other natural fibers, or wool?

L1:(i) Is not more than 10 percent of the total price of the end product; and

L1:(ii) Does not exceed the threshold at Defense Federal Acquisition Regulation Supplement 225.7002-2(a);

L1:(3) To waste and byproducts of cotton or wool fiber for use in the production of propellants and explosives;

L1:(4) To foods, other than fish, shellfish, or seafood, that have been manufactured or processed in the United States, L0:regardless of where the foods (and any component if applicable) were grown or produced. Fish, shellfish, or seafood L0:manufactured or processed in the United States and fish, shellfish, or seafood contained in foods manufactured or L0:processed in the United States shall be provided in accordance with paragraph (d) of this clause;

L1:(5) To chemical warfare protective clothing produced in a qualifying country; or

L1:(6) To fibers and yarns that are for use in synthetic fabric or coated synthetic fabric (but does apply to the synthetic or

L0:coated synthetic fabric itself), if?

L1:(i) The fabric is to be used as a component of an end product that is not a textile product. Examples of textile products,

L0:made in whole or in part of fabric, include?

L1:(A) Draperies, floor coverings, furnishings, and bedding (Federal Supply Group 72, Household and Commercial

L0:Furnishings and Appliances);

L1:(B) Items made in whole or in part of fabric in Federal Supply Group 83, Textile/leather/furs/apparel/findings/tents/flags,

L0:or Federal Supply Group 84, Clothing, Individual Equipment and Insignia;

L1:(C) Upholstered seats (whether for household, office, or other use); and

L1:(D) Parachutes (Federal Supply Class 1670); or

L1:(ii) The fibers and yarns are para-aramid fibers and continuous filament para-aramid yarns manufactured in a qualifying

L0:country.

L1:(d)(1) Fish, shellfish, and seafood delivered under this contract, or contained in foods delivered under this contract?

L1:(i) Shall be taken from the sea by U.S.-flag vessels; or

L1:(ii) If not taken from the sea, shall be obtained from fishing within the United States; and

L1:(2) Any processing or manufacturing of the fish, shellfish, or seafood shall be performed on a U.S.-flag vessel or in the

L0:United States.

L0:(End of clause)

252.225-7013 Duty-Free Entry

Status: active

L0:252.225-7013 Duty-Free Entry.

L0:As prescribed in 225.1101 (4), use the following clause:

L0:Duty-Free Entry (AUG 2025)

L1:(a) Definitions.As used in this clause?

L0:Component, means any item supplied to the Government as part of an end product or of another component.

L0:Customs territory of the United States? means the 50 States, the District of Columbia, and Puerto Rico.

L0:Eligible product? means?

L1:(1) Designated country end product, as defined in the Trade Agreements (either basic or alternate) clause of this contract;

L1:(2) Free Trade Agreement country end product, other than a Bahraini end product, a Moroccan end product, a Panamanian

L0:end product, or a Peruvian end product, as defined in the Buy American?Free Trade Agreements?Balance of Payments

L0:Program (either basic or alternate II) clause of this contract; or

L1:(3) Free Trade Agreement country end product other than a Bahraini end product, Korean end product, Moroccan end

L0:product, Panamanian end product, or Peruvian end product, as defined in the Buy American?Free Trade Agreements?

L0:Balance of Payments Program (either alternate IV or alternate V) clause of this contract.

L0:Qualifying country? and ?qualifying country end product? have the meanings given in the Trade Agreements clause, the

L0:Buy American and Balance of Payments Program clause, or the Buy American?Free Trade Agreements?Balance of Payments Program clause of this contract, basic or alternate.

L1:(b) Except as provided in paragraph (i) of this clause, or unless supplies were imported into the customs territory of the

L0:United States before the date of this contract or the applicable subcontract, the price of this contract shall not include any

L0:amount for duty on?

L1:(1) End items that are eligible products or qualifying country end products;

L1:(2) Components (including, without limitation, raw materials and intermediate assemblies) produced or made in qualifying

L0:countries, that are to be incorporated in U.S.- made end products to be delivered under this contract; or

L1:(3) Other supplies for which the Contractor estimates that duty will exceed \$300 per shipment into the customs territory of

L0:the United States.

L1:(c) The Contractor shall?

L1:(1) Claim duty-free entry only for supplies that the Contractor intends to deliver to the Government under this contract,

L0:either as end items or components of end items; and

L1:(2) Pay duty on supplies, or any portion thereof, that are diverted to nongovernmental use, other than?

L1:(i) Scrap or salvage; or

L1:(ii) Competitive sale made, directed, or authorized by the Contracting Officer.

L1:(d) Except as the Contractor may otherwise agree, the Government will execute duty-free entry certificates and will afford

L0:such assistance as appropriate to obtain the duty-free entry of supplies?

L1:(1) For which no duty is included in the contract price in accordance with paragraph (b) of this clause; and

L1:(2) For which shipping documents bear the notation specified in paragraph (e) of this clause.

L1:(e) For foreign supplies for which the Government will issue duty-free entry certificates in accordance with this clause,

L0:shipping documents submitted to Customs shall?

L1:(1) Consign the shipments to the appropriate?

L1:(i) Military department in care of the Contractor, including the Contractor's delivery address; or

L1:(ii) Military installation; and

L1:(2) Include the following information:

L1:(i) Prime contract number and, if applicable, delivery order number.

L1:(ii) Number of the subcontract for foreign supplies, if applicable.

L1:(iii) Identification of the carrier.

L1:(iv)(A) For direct shipments to a U.S. military installation, the notation: ?UNITED STATES GOVERNMENT,

L0:DEPARTMENT OF DEFENSE Duty-Free Entry to be claimed pursuant to Section XXII, Chapter 98, Subchapter VIII,

L0:Item 9808.00.30 of the Harmonized Tariff Schedule of the United States. Upon arrival of shipment at the appropriate port

L0:of entry, District Director of Customs, please release shipment under 19 CFR part 142 and notify Defense Contract

L0:Management Agency (DCMA) St. Louis, St. Louis, MO, ATTN: Duty Free Entry Team, 1222 Spruce Street, Room 9.300,

L0:St. Louis, MO 63103-2812, for execution of Customs Form 7501, 7501A, or 7506 and any required duty-free entry L0:certificates.?

L1:(B) If the shipment will be consigned to other than a military installation, e.g., a domestic contractor's plant, the shipping

L0:document notation shall be altered to include the name and address of the contractor, agent, or broker who will notify

L0:DCMA St. Louis, Duty Free Entry Team, for execution of the duty-free entry certificate. (If the shipment will be consigned

L0:to a contractor's plant and no duty-free entry certificate is required due to a trade agreement, the Contractor shall claim

L0:duty-free entry under the applicable trade agreement and shall comply with the U.S. Customs Service requirements. No

L0:notification to DCMA St. Louis, Duty Free Entry Team, is required.)

L1:(v) Gross weight in pounds (if freight is based on space tonnage, state cubic feet in addition to gross shipping weight).

L1:(vi) Estimated value in U.S. dollars.

L1:(vii) Activity address number of the contract administration office administering the prime contract, e.g., for DCMA

L0:Dayton, S3605A.

L1:(f) Preparation of customs forms.

L1:(1)(i) Except for shipments consigned to a military installation, the Contractor shall?

L1:(A) Prepare any customs forms required for the entry of foreign supplies into the customs territory of the United States in

L0:connection with this contract; and

L1:(B) Submit the completed customs forms to the District Director of Customs, with a copy to DCMA St. Louis, Duty Free

L0:Entry Team for execution of any required duty-free entry certificates.

L1:(ii) Shipments consigned directly to a military installation will be released in accordance with sections 10.101 and 10.102

L0:of the U.S. Customs regulations.

L1:(2) For shipments containing both supplies that are to be accorded duty-free entry and supplies that are not, the Contractor

L0:shall identify on the customs forms those items that are eligible for duty-free entry.

L1:(g) The Contractor shall?

L1:(1) Prepare (if the Contractor is a foreign supplier), or shall instruct the foreign supplier to prepare, a sufficient number of

L0:copies of the bill of lading (or other shipping document) so that at least two of the copies accompanying the shipment will

L0:be available for use by the District Director of Customs at the port of entry;

L1:(2) Consign the shipment as specified in paragraph (e) of this clause; and

L1:(3) Mark on the exterior of all packages?

L1:(i) ?UNITED STATES GOVERNMENT, DEPARTMENT OF DEFENSE?; and

L1:(ii) The activity address number of the contract administration office administering the prime contract.

L1:(h) The Contractor shall notify the Administrative Contracting Officer (ACO) in writing of any purchase of eligible

L0:products or qualifying country supplies to be accorded duty-free entry, that are to be imported into the customs territory of

L0:the United States for delivery to the Government or for incorporation in end items to be delivered to the Government.
The

L0:Contractor shall furnish the notice to the ACO immediately upon award to the supplier and shall include in the notice?

L1:(1) The Contractor's name, address, and Commercial and Government Entity (CAGE) code;

L1:(2) Prime contract number and, if applicable, delivery order number;

L1:(3) Total dollar value of the prime contract or delivery order;

L1:(4) Date of the last scheduled delivery under the prime contract or delivery order;

L1:(5) Foreign supplier's name and address;

L1:(6) Number of the subcontract for foreign supplies;

L1:(7) Total dollar value of the subcontract for foreign supplies;

L1:(8) Date of the last scheduled delivery under the subcontract for foreign supplies;

L1:(9) List of items purchased;

L1:(10) An agreement that the Contractor will pay duty on supplies, or any portion thereof, that are diverted to

L0:nongovernmental use other than?

L1:(i) Scrap or salvage; or

L1:(ii) Competitive sale made, directed, or authorized by the Contracting Officer;

L1:(11) Country of origin; and

L1:(12) Scheduled delivery date(s).

L1:(i) This clause does not apply to purchases of eligible products or qualifying country supplies in connection with this

L0:contract if?

L1:(1) The supplies are identical in nature to supplies purchased by the Contractor or any subcontractor in connection with its

L0:commercial business; and

L1:(2) It is not economical or feasible to account for such supplies so as to ensure that the amount of the supplies for which

L0:duty-free entry is claimed does not exceed the amount purchased in connection with this contract.

L1:(j) The Contractor shall?

L1:(1) Insert the substance of this clause, including this paragraph (j), in all subcontracts for?

L1:(i) Qualifying country components; or

L1:(ii) Nonqualifying country components for which the Contractor estimates that duty will exceed \$200 per unit;

L1:(2) Require subcontractors to include the number of this contract on all shipping documents submitted to Customs for

L0:supplies for which duty-free entry is claimed pursuant to this clause; and

L1:(3) Include in applicable subcontracts?

L1:(i) The name and address of the ACO for this contract;

L1:(ii) The name, address, and activity address number of the contract administration office specified in this contract; and

L1:(iii) The information required by paragraphs (h)(1), (2), and (3) of this clause.

L0:(End of clause)

252.225-7015 Restriction on Acquisition of Hand or Measuring Tools

Status: active

L0:252.225-7015 Restriction on Acquisition of Hand or Measuring Tools.

L0:As prescribed in 225.7002-3 (b), use the following clause:

L0:RESTRICTION ON ACQUISITION OF HAND OR MEASURING TOOLS (JUN 2005)

L0:Hand or measuring tools delivered under this contract shall be produced in the United States or its outlying areas.

L0:(End of clause)

252.225-7016 Restriction on Acquisition of Ball and Roller Bearings

Status: active

L0:252.225-7016 Restriction on Acquisition of Ball and Roller Bearings.

L0:As prescribed in 225.7009-5 , use the following clause:

L0:RESTRICTION ON ACQUISITION OF BALL AND ROLLER BEARINGS (JAN 2023)

L1:(a) Definitions. As used in this clause?

L1:(1) ?Bearing components? means the bearing element, retainer, inner race, or outer race.

L1:(2) ?Component,? other than a bearing component, means any item supplied to the Government as part of an end product

L0:or of another component.

L1:(3) ?End product? means supplies delivered under a line item of this contract.

L1:(b) Except as provided in paragraph (c) of this clause?

L1:(1) Each ball and roller bearing delivered under this contract shall be manufactured in the United States, its outlying areas,

L0:or Canada; and

L1:(2) For each ball or roller bearing, the cost of the bearing components manufactured in the United States, its outlying areas,

L0:or Canada shall exceed 50 percent of the total cost of the bearing components of that ball or roller bearing.

L1:(c) The restriction in paragraph (b) of this clause does not apply to ball or roller bearings that are acquired as?

L1:(1) Commercial components of an other than commercial; or

L1:(2) Commercial or other than commercial components of an commercial component of a other than commercial end product.

L1:(d) The restriction in paragraph (b) of this clause may be waived upon request from the Contractor in accordance with

L0:subsection 225.7009-4 of the Defense Federal Acquisition Regulation Supplement.

L1:(e) If this contract includes DFARS clause 252.225-7009 , Restriction on Acquisition of Certain Articles Containing

L0:Specialty Metals, all bearings that contain specialty metals, as defined in that clause, must meet the requirements of that

L0:clause.

L1:(f) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (f), in all subcontracts,

L0:except those for?

L1:(1) Commercial products; or

L1:(2) Items that do not contain ball or roller bearings.

L0:(End of clause)

252.225-7017 Photovoltaic Devices

Status: active

L0:252.225-7017 Photovoltaic Devices.

L0:As prescribed in 225.7017-4 (a), use the following clause:

L0:PHOTOVOLTAIC DEVICES (MAR 2024)

L1:(a) Definitions.As used in this clause?

L0:Bahraini photovoltaic device means a photovoltaic device that?

L1:(1) Is wholly manufactured in Bahrain; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been

L0:substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct

L0:from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently

L0:substantially transformed outside of Bahrain.

L0:Caribbean Basin country photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in a Caribbean Basin country; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a Caribbean Basin country into a new and different article of commerce with a name,

L0:character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic

L0:device is not subsequently substantially transformed outside of a Caribbean Basin country.

L0:Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia,

L0:Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania,

L0:Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal,

L0:Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade

L0:Organization as the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or

L0:the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador,

L0:Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia,

L0:Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia,

L0:Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania,

L0:Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia,

L0:South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin

Islands,

L0:Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the

L0:Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0: ?Designated country photovoltaic device? means a WTO GPA country photovoltaic device, a Free Trade Agreement

L0:country photovoltaic device, a least developed country photovoltaic device, or a Caribbean Basin country photovoltaic

L0:device.

L0: ?Domestic photovoltaic device? means a photovoltaic device that is manufactured in the United States

L0: ?Foreign photovoltaic device? means a photovoltaic device other than a domestic photovoltaic device.

L0: ?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El

L0:Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0: ?Free Trade Agreement country photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in a Free Trade Agreement country; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a Free Trade Agreement country into a new and different article of commerce with a name,

L0:character, or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic

L0:device is not subsequently substantially transformed outside of a Free Trade Agreement country.

L0: ?Korean photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in Korea (Republic of); or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been

L0:substantially transformed in Korea (Republic of) into a new and different article of commerce with a name, character, or

L0:use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not

L0:subsequently substantially transformed outside of Korea (Republic of).

L0: ?Least developed country photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in a least developed country; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a least developed country into a new and different article of commerce with a name, character,

L0:or use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not

L0:subsequently substantially transformed outside of a least developed country.

L0: ?Moroccan photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in Morocco; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been

L0:substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct

L0:from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently

L0:substantially transformed outside of Morocco.

L0: ?Panamanian photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in Panama; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been

L0:substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct

L0:from that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently

L0:substantially transformed outside of Panama.

L0:?Peruvian photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in Peru; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been

L0:substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from

L0:that of the article or articles from which it was transformed, provided that the photovoltaic device is not subsequently

L0:substantially transformed outside of Peru.

L0:"Photovoltaic device" means a device that converts light directly into electricity through a solid-state, semiconductor L0:process.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country photovoltaic device? means a photovoltaic device manufactured in a qualifying country.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L0:U.S.-made photovoltaic device? means a photovoltaic device that?

L1:(1) Is manufactured in the United States; or

L1:(2) Is substantially transformed in the United States into a new and different article of commerce with a name, character, or

L0:use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not

L0:subsequently substantially transformed outside of the United States.

L0:WTO GPA country photovoltaic device? means a photovoltaic device that?

L1:(1) Is wholly manufactured in a WTO GPA country; or

L1:(2) In the case of a photovoltaic device that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a WTO GPA country into a new and different article of commerce with a name, character, or

L0:use distinct from that of the article or articles from which it was transformed, provided that the photovoltaic device is not

L0:subsequently substantially transformed outside of a WTO GPA country.

L1:(b) This clause implements section 846 of the National Defense Authorization Act for Fiscal Year 2011 (Pub. L. 111-383).

L1:(c) Restriction.If the Contractor specified in its offer in the Photovoltaic Devices?Certificate provision of the solicitation

L0:that the estimated value of the photovoltaic devices to be utilized in performance of this contract would be?

L1:(1) More than the micro-purchase threshold but less than \$100,000, then the Contractor shall utilize only domestic

L0:photovoltaic devices unless, in its offer, it specified utilization of qualifying country or other foreign photovoltaic devices

L0:in paragraph (d)(2) of the Photovoltaic Devices?Certificate provision of the solicitation.

L1:(2) \$100,000 or more but less than \$102,280, then the Contractor shall utilize under this contract only domestic

L0:photovoltaic devices unless, in its offer, it specified utilization of Free Trade Agreement country photovoltaic devices

L0:(other than Bahraini, Korean, Moroccan, Panamanian, or Peruvian photovoltaic devices), qualifying country photovoltaic

L0:devices, or other foreign photovoltaic devices in paragraph (d)(4) of the Photovoltaic Devices?Certificate provision of the

L0:solicitation. If the Contractor certified in its offer that it will utilize a Free Trade Agreement country photovoltaic device

L0:(other than a Bahraini, Korean, Moroccan, Panamanian, or Peruvian photovoltaic device) ora qualifying country

L0:photovoltaic device, then the Contractor shall utilize a Free Trade Agreement country photovoltaic device (other than a

L0:Bahraini, Korean, Moroccan, Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic

device;

L0:or, at the Contractor's option, a domestic photovoltaic device;

L1:(3) \$100,000 or more but less than \$174,000, then the Contractor shall utilize under this contract only domestic photovoltaic

L0:devices, unless, in its offer, it specified utilization of Free Trade Agreement country photovoltaic devices (other than Bahraini, Moroccan, Panamanian, or Peruvian photovoltaic devices), qualifying country photovoltaic devices, or other

L0:foreign photovoltaic devices in paragraph (d)(5) of the Photovoltaic Devices Certificate provision of the solicitation. If the Contractor certified in its offer that it will utilize a Free Trade Agreement country photovoltaic device (other than a Bahraini, Moroccan, Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic device, then the

L0:Contractor shall utilize a Free Trade Agreement country photovoltaic device (other than a Bahraini, Moroccan, Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic device; or, at the Contractor's option, a

L0:domestic photovoltaic device; or

L1:(4) \$174,000 or more, then the Contractor shall utilize under this contract only U.S.-made, designated country, or

L0:qualifying country photovoltaic devices.

L0:(End of clause)

252.225-7018 Photovoltaic Devices Certificate

Status: active

L0:252.225-7018 Photovoltaic Devices Certificate.

L0:As prescribed in 225.7017-4 (b), use the following provision:

L0:PHOTOVOLTAIC DEVICES CERTIFICATE (MAR 2024)

L1:(a) Definitions. Bahraini photovoltaic device, Caribbean Basin photovoltaic device, designated country, designated

L0:country photovoltaic device, domestic photovoltaic device, foreign photovoltaic device, Free Trade Agreement

L0:country, Free Trade Agreement photovoltaic device, Korean photovoltaic device, least developed country

L0:photovoltaic device, Moroccan photovoltaic device, Panamanian photovoltaic device, Peruvian photovoltaic

L0:device, photovoltaic device, qualifying country, qualifying country photovoltaic device, United States, U.S.-made photovoltaic device, and WTO GPA country photovoltaic device have the meanings given in the Photovoltaic

L0:Devices clause of this solicitation.

L1:(b) Restrictions. The following restrictions apply, depending on the estimated aggregate value of photovoltaic devices to be

L0:utilized under a resultant contract:

L1:(1) If more than the micro-purchase threshold but less than \$174,000, then the Government will not accept an offer

L0:specifying the use of other foreign photovoltaic devices in paragraph (d)(2)(ii), (d)(3)(ii), (d)(4)(ii), or (d)(5)(ii) of this

L0:provision, unless the Offeror documents to the satisfaction of the Contracting Officer that the price of the foreign

L0:photovoltaic device plus 50 percent is less than the price of a comparable domestic photovoltaic device.

L1:(2) If \$174,000 or more, then the Government will consider only offers that utilize photovoltaic devices that are U.S.-made,

L0:qualifying country, or designated country photovoltaic devices.

L1:(c) Country in which a designated country photovoltaic device was wholly manufactured or was substantially transformed.

L0:If the estimated value of the photovoltaic devices to be utilized under a resultant contract exceeds \$102,280, the Offeror's

L0:certification that such photovoltaic device (e.g., solar panel) is a designated country photovoltaic device shall be consistent

L0:with country of origin determinations by the U.S. Customs and Border Protection with regard to importation of the same or

L0:similar photovoltaic devices into the United States. If the Offeror is uncertain as to what the country of origin would be

L0:determined to be by the U.S. Customs and Border Protection, the Offeror shall request a determination from U.S. Customs

L0:and Border Protection. (See <https://www.cbp.gov/trade/rulings>.)

L1:(d) Certification and identification of country of origin. [The Offeror shall check the block and fill in the blank for one of

L0:the following paragraphs, based on the estimated value and the country of origin of photovoltaic devices to be utilized in

L0:performance of the contract:]

L0:[The offeror shall check the block and fill in the blank for one of the following paragraphs, based on the estimated value

L0:and the country of origin of photovoltaic devices to be utilized in performance of the contract:]

L0:___ (1) No photovoltaic devices will be utilized in performance of the contract, or such photovoltaic devices have an L0:estimated value that does not exceed the micro-purchase threshold.

L1:(2) If more than the micro-purchase threshold but less than \$100,000?

L0:___(i) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a domestic L0:photovoltaic device;

L0:___(ii) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a qualifying L0:country photovoltaic device [Offeror to specify country of origin___]; or

L0:___ (iii) The foreign (other than qualifying country) photovoltaic devices to be utilized in performance of the contract are

L0:the product of _____. [Offeror to specify country of origin, if known, and provide documentation that the

L0:cost of a domestic photovoltaic device would be unreasonable in comparison to the cost of the proposed foreign

L0:photovoltaic device, i.e. that the price of the foreign photovoltaic device plus 50 percent is less than the price of a

L0:comparable domestic photovoltaic device.]

L1:(3) If less than \$100,000?

L0:___(i) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a domestic L0:photovoltaic device;

L0:___(ii) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a qualifying L0:country photovoltaic device [Offeror to specify country of origin ___]; or

L0:___ (iii) The foreign photovoltaic devices to be utilized in performance of the contract are the product of

L0:_____. [Offeror to specify country of origin, if known, and provide documentation that the cost of a domestic

L0:photovoltaic device would be unreasonable in comparison to the cost of the proposed foreign photovoltaic device,

i.e. that

L0:the price of the foreign photovoltaic device plus 50 percent is less than the price of a comparable domestic photovoltaic

L0:device.]

L1:(4) If \$100,000 or more but less than \$102,280?

L0:____(i) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a domestic L0:photovoltaic device;

L0:____(ii) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a Free Trade

L0:Agreement country photovoltaic device (other than a Bahraini, Korean, Moroccan, Panamanian, or Peruvian photovoltaic

L0:device) or a qualifying country photovoltaic device [Offeror to specify country of origin_____]; or

L0:____(iii) The offered foreign photovoltaic devices (other than those from countries listed in paragraph (d)(4)(ii) of this L0:provision) are the product of

L0:_____. [Offeror to specify country of origin, if known, and provide documentation that the cost of a domestic

L0:photovoltaic device would be unreasonable in comparison to the cost of the proposed foreign photovoltaic device, i.e. that

L0:the price of the foreign photovoltaic device plus 50 percent is less than the price of a comparable domestic photovoltaic

L0:device.]

L1:(5) If \$100,000 or more but less than \$174,000?

L0:____(i) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a domestic L0:photovoltaic device;

L0:____(ii) The Offeror certifies that each photovoltaic device to be utilized in performance of the contract is a Free Trade

L0:Agreement country photovoltaic device (other than a Bahraini, Moroccan, Panamanian, or Peruvian photovoltaic device) or

L0:a qualifying country photovoltaic device [Offeror to specify country of origin_____]; or

L0:(other than a Bahrainian, Moroccan, Panamanian, or Peruvian photovoltaic device) or a qualifying country photovoltaic

L0:device [Offeror to specify country of origin_____]; or

L0:____(iii) The offered foreign photovoltaic devices (other than those from countries listed in paragraph (d)(5)(ii) of this L0:provision) are the product of _____.

L0:[Offeror to specify country of origin, if known, and provide documentation that the cost of a domestic photovoltaic device

L0:would be unreasonable in comparison to the cost of the proposed foreign photovoltaic device, i.e. that the price of the

L0:foreign photovoltaic device plus 50 percent is less than the price of a comparable domestic photovoltaic device.]

L1:(6) If \$174,000 or more, the Offeror certifies that each photovoltaic device to be used in performance of the contract is?

L0:____(i) A U.S.-made photovoltaic device; or

L0:____(ii) A designated country photovoltaic device or a qualifying country photovoltaic device. [Offeror to specify country

L0:of origin_____.]

L0:(End of provision)

252.225-7019 Restriction on Acquisition of Anchor and Mooring Chain

Status: active

L0:252.225-7019 Restriction on Acquisition of Anchor and Mooring Chain.

L0:As prescribed in 225.7004-7(a) , use the following clause:

L0:RESTRICTION ON ACQUISITION OF ANCHOR AND MOORING CHAIN (MAY 2024)

L1:(a) Definition. As used in this clause?

L0:?"Component?" means an article, material, or supply incorporated directly into an end product.

L1:(b) Welded shipboard anchor and mooring chain delivered under this contract?

L1:(1) Shall be manufactured in the United States or its outlying areas, including cutting, heat treating, quality control, testing,

L0:and welding (both forging and shot blasting process); and

L1:(2) The cost of the components manufactured in the United States or its outlying areas shall exceed 50 percent of the total

L0:cost of components.

L1:(c) The Contractor may request a waiver of this restriction if adequate domestic supplies meeting the requirements in

L0:paragraph (a) of this clause are not available to meet the contract delivery schedule.

L1:(d) The Contractor shall insert the substance of this clause, including this paragraph (d), in all subcontracts for items

L0:containing welded shipboard anchor and mooring chain.

L0:(End of clause)

252.225-7020 Trade Agreements Certificate

Status: active

L0:252.225-7020 Trade Agreements Certificate.

L0:Basic. As prescribed in 225.1101 (5) and (5)(i), use the following provision:

L0:TRADE AGREEMENTS CERTIFICATE?BASIC (NOV 2014)

L1:(a) Definitions. ?Designated country end product,? ?nondesignated country end product,? ?qualifying country end

L0:product,? and ?U.S.-made end product? as used in this provision have the meanings given in the Trade Agreements?Basic

L0:clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of Part 225 of the Defense Federal Acquisition

L0:Regulation Supplement; and

L1:(2) Will consider only offers of end products that are U.S.-made, qualifying country, or designated country end products

L0:unless?

L1:(i) There are no offers of such end products;

L1:(ii) The offers of such end products are insufficient to fulfill the Government?s requirements; or

L1:(iii) A national interest waiver has been granted.

L1:(c) Certification and identification of country of origin.

L1:(1) For all line items subject to the Trade Agreements?Basic clause of this solicitation, the offeror certifies that each end

L0:product to be delivered under this contract, except those listed in paragraph (c)(2) of this provision, is a U.S.-made,

L0:qualifying country, or designated country end product.

L1:(2) The following supplies are other nondesignated country end products:

L0:(Line Item Number)

L0:(Country of Origin)

L0:(End of provision)

L0:Alternate I. As prescribed in 225.1101 (5) and (5)(ii), use the following provision, which uses different paragraphs (a), (b)

L1:(2), and (c) than the basic provision:

L0:TRADE AGREEMENTS CERTIFICATE?ALTERNATE I (NOV 2014)

L1:(a) Definitions. ?Designated country end product,? ?nondesignated country end product,? ?qualifying country end

L0:product,? ?South Caucasus/Central and South Asian (SC/CASA) state,? ?South Caucasus/Central and South Asian

L0:(SC/CASA) state end product,? and ?U.S.-made end product,? as used in this provision, have the meanings given in the

L0:Trade Agreements?Alternate I clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition

L0:Regulation Supplement; and

L1:(2) Will consider only offers of end products that are U.S.-made, qualifying country, SC/CASA state, or designated country

L0:end products unless?

L1:(i) There are no offers of such end products;

L1:(ii) The offers of such end products are insufficient to fulfill the Government?s requirements; or

L1:(iii) A national interest waiver has been granted.

L1:(c) Certification and identification of country of origin.

L1:(1) For all line items subject to the Trade Agreement?Alternate I clause of this solicitation, the offeror certifies that each

L0:end product to be delivered under this contract, except those listed in paragraph (c)(2)(ii) of this provision, is a U.S.-made,

L0:qualifying country, SC/CASA state, or designated country end product.

L1:(2)(i) The following supplies are SC/CASA state end products:

L0:(Line Item Number)

L0:(Country of Origin)

L1:(ii) The following are other nondesignated country end products:

L0:(Line Item Number)

L0:(Country of Origin)

L0:(End of provision)

252.225-7021 Trade Agreements

Status: active

L0:252.225-7021 Trade Agreements.

L0:Basic. As prescribed in 225.1101 (6) and (6)(i), use the following clause:

L0:TRADE AGREEMENTS?BASIC (FEB 2024)

L1:(a) Definitions.As used in this clause?

L0:?Caribbean Basin country end product??

L1:(1) Means an article that?

L1:(i) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(ii) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself; and

L1:(2) Excludes products, other than petroleum and any product derived from petroleum, that are not granted duty-free treatment under the Caribbean Basin Economic Recovery Act (19 U.S.C. 2703(b)). These exclusions presently consist of?

L1:(i) Textiles, apparel articles, footwear, handbags, luggage, flat goods, work gloves, leather wearing apparel, and handloomed, handmade, or folklore articles that are not granted duty-free status in the Harmonized Tariff Schedule of the

L0:United States (HTSUS);

L1:(ii) Tuna, prepared or preserved in any manner in airtight containers; and

L1:(iii) Watches and watch parts (including cases, bracelets, and straps) of whatever type, including, but not limited to, mechanical, quartz digital, or quartz analog, if such watches or watch parts contain any material that is the product of any

L0:country to which the HTSUS column 2 rates of duty (HTSUS General Note 3(b)) apply.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation);

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia,

L0:Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania,

L0:Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand Norway, Poland, Portugal, Romania, Singapore,

L0:Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade Organization as ?the Separate

L0:Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain,Chile, Colombia, Costa Rica, Dominican Republic, El Salvador,

L0:Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, L0:Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia,

L0:Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, L0:Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia,

L0:South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands,

L0:Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the

L0:Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0: ?Designated country end product? means a WTO GPA country end product, a Free Trade Agreement country end product,

L0:a least developed country end product, or a Caribbean Basin country end product.

L0: ?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0: ?Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself.

L0: ?Least developed country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in a least developed country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself.

L0:?'Nondesignated country end product?' means any end product that is not a U.S.-made end product or a designated country

L0:end product.

L0:?'Qualifying country?' means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:?'Qualifying country end product?' means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the

L0:percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:starting in calendar year 2029, unless an alternate percentage is established for a contract:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States; or

L1:(ii) The end product is a COTS item.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L0:U.S.-made end product? means an article that?

L1:(1) Is mined, produced, or manufactured in the United States; or

L1:(2) Is substantially transformed in the United States into a new and different article of commerce with a name, character, or

L0:use distinct from that of the article or articles from which it was transformed.

L0:WTO GPA country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in a WTO GPA country into a new and different article of commerce with a name, character, or use distinct

L0:from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a

L0:supply contract, but for purposes of calculating the value of the end product includes services (except transportation

L0:services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only U.S.-made, qualifying country, or designated country end products

L0:unless?

L1:(1) In its offer, the Contractor specified delivery of other nondesignated country end products in the Trade Agreements

L0:Certificate provision of the solicitation; and

L1:(2)(i) Offers of U.S.-made, qualifying country, or designated country end products from responsive, responsible offerors

L0:are either not received or are insufficient to fill the Government's requirements; or

L1:(ii) A national interest waiver has been granted.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L1:(e) The HTSUS is available at <http://www.usitc.gov/tata/hts/bychapter/index.htm>. The following sections of the

HTSUS

L0:provide information regarding duty-free status of articles specified in the definition of "Caribbean Basin country end product" within paragraph (a) of this clause:

L1:(1) General Note 3(c), Products Eligible for Special Tariff Treatment.

L1:(2) General Note 17, Products of Countries Designated as Beneficiary Countries Under the United States-Caribbean

L0:Basin Trade Partnership Act of 2000.

L1:(3) Section XXII, Chapter 98, Subchapter II, Articles Exported and Returned, Advanced or Improved Abroad, U.S. Note

L0:7(b).

L1:(4) Section XXII, Chapter 98, Subchapter XX, Goods Eligible for Special Tariff Benefits Under the United States?

L0:Caribbean Basin Trade Partnership Act.

L0:(End of clause)

L0:Alternate I. Reserved.

L0:Alternate II. As prescribed in 225.1101 (6) and (6)(ii), use the following clause, which adds "South Caucasus/Central and

L0:South Asian (SC/CASA) state" and "South Caucasus/Central and South Asian (SC/CASA) state end product" to paragraph

L1:(a); (ii) uses a different paragraph (c) than the basic clause; (iii) adds a new paragraph (d); and (iv) includes paragraphs (e)

L0:and (f) which are the same paragraphs (d) and (e) of the basic clause:

L0:TRADE AGREEMENTS-ALTERNATE II (FEB 2024)

L1:(a) Definitions. As used in this clause:

L0:"Caribbean Basin country end product"?

L1:(1) Means an article that:

L1:(i) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(ii) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself; and

L1:(2) Excludes products, other than petroleum and any product derived from petroleum, that are not granted duty-free treatment under the Caribbean Basin Economic Recovery Act (19 U.S.C. 2703(b)). These exclusions presently consist of:

L1:(i) Textiles, apparel articles, footwear, handbags, luggage, flat goods, work gloves, leather wearing apparel, and handloomed, handmade, or folklore articles that are not granted duty-free status in the Harmonized Tariff Schedule of the

L0:United States (HTSUS);

L1:(ii) Tuna, prepared or preserved in any manner in airtight containers; and

L1:(iii) Watches and watch parts (including cases, bracelets, and straps) of whatever type, including, but not limited to, mechanical, quartz digital, or quartz analog, if such watches or watch parts contain any material that is the product

of any

L0:country to which the HTSUS column 2 rates of duty (HTSUS General Note 3(b)) apply.

L0:Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of "commercial product" in section 2.101 of the

L0:Federal Acquisition Regulation);

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in

L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:"Component" means an article, material, or supply incorporated directly into an end product.

L0:"Designated country" means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia,

L0:Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania,

L0:Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal,

L0:Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade

L0:Organization as "the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu" (Chinese Taipei)), Ukraine, or

L0:the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador,

L0:Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia,

L0:Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, East Timor, Equatorial Guinea,

L0:Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Maldives,

L0:Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon

L0:Islands, Somalia, Tanzania, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands,

L0:Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the

L0:Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:"Designated country end product" means a WTO GPA country end product, a Free Trade Agreement country end product,

L0:a least developed country end product, or a Caribbean Basin country end product.

L0:"End product" means those articles, materials, and supplies to be acquired under this contract for public use.

L0:"Free Trade Agreement country end product" means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except

L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself.

L0:?Least developed country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in a least developed country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except

L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself.

L0:?Nondesignated country end product? means any end product that is not a U.S.-made end product or a designated country

L0:end product.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the

L0:percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:starting in calendar year 2029, unless an alternate percentage is established for a contract:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States; or

L1:(ii) The end product is a COTS item.

L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan,

L0:Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:?South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from

L0:that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a L0:supply contract, but for purposes of calculating the value of the end product includes services (except transportation L0:services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L0:?U.S.-made end product? means an article that?

L1:(1) Is mined, produced, or manufactured in the United States; or

L1:(2) Is substantially transformed in the United States into a new and different article of commerce with a name,

character, or

L0:use distinct from that of the article or articles from which it was transformed.

L0: ?WTO GPA country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in a WTO GPA country into a new and different article of commerce with a name, character, or use distinct

L0:from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a

L0:supply contract, but for purposes of calculating the value of the end product includes services (except transportation

L0:services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only U.S.-made, qualifying country, SC/CASA state, or designated

L0:country end products unless?

L1:(1) In its offer, the Contractor specified delivery of other nondesignated country end products in the Trade Agreements

L0:Certificate provision of the solicitation; and

L1:(2)(i) Offers of U.S.-made, qualifying country, SC/CASA state, or designated country end products from responsive,

L0:responsible offerors are either not received or are insufficient to fill the Government?s requirements; or

L1:(ii) A national interest waiver has been granted.

L1:(d) If the Contractor is from an SC/CASA state, the Contractor shall inform its government of its participation in this

L0:acquisition and that it generally will not have such opportunity in the future unless its government provides reciprocal

L0:procurement opportunities to U.S. products and services and suppliers of such products and services.

L1:(e) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L1:(f) The HTSUS is available at <http://www.usitc.gov/tata/hts/bychapter/index.htm>. The following sections of the HTSUS

L0:provide information regarding duty-free status of articles specified in the definition of ?Caribbean Basin country end

L0:product? within paragraph (a) of this clause:

L1:(1) General Note 3(c), Products Eligible for Special Tariff Treatment.

L1:(2) General Note 17, Products of Countries Designated as Beneficiary Countries Under the United States?Caribbean

L0:Basin Trade Partnership Act of 2000.

L1:(3) Section XXII, Chapter 98, Subchapter II, Articles Exported and Returned, Advanced or Improved Abroad, U.S. Note

L0:7(b).

L1:(4) Section XXII, Chapter 98, Subchapter XX, Goods Eligible for Special Tariff Benefits Under the United States?

L0:Caribbean Basin Trade Partnership Act.

L0:(End of clause)

L0:Alternate III. As prescribed in 225.1101(6) and (6)(iii), use the following clause, which includes, in the definition of

L0: ?qualifying country end product? at paragraph (2)(i), the domestic content threshold that will apply to the entire

contract

L0:period of performance.

L0:TRADE AGREEMENTS?ALTERNATE III (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Caribbean Basin country end product??

L1:(1) Means an article that?

L1:(i) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(ii) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself; and

L1:(2) Excludes products, other than petroleum and any product derived from petroleum, that are not granted duty-free L0:treatment under the Caribbean Basin Economic Recovery Act (19 U.S.C. 2703(b)). These exclusions presently consist of?

L1:(i) Textiles, apparel articles, footwear, handbags, luggage, flat goods, work gloves, leather wearing apparel, and L0:handloomed, handmade, or folklore articles that are not granted duty-free status in the Harmonized Tariff Schedule of the

L0:United States (HTSUS);

L1:(ii) Tuna, prepared or preserved in any manner in airtight containers; and

L1:(iii) Watches and watch parts (including cases, bracelets, and straps) of whatever type, including, but not limited to, L0:mechanical, quartz digital, or quartz analog, if such watches or watch parts contain any material that is the product of any

L0:country to which the HTSUS column 2 rates of duty (HTSUS General Note 3(b)) apply.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation);

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia,

L0:Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein,

Lithuania,

L0:Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal,

L0:Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade

L0:Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)),

Ukraine, or

L0:the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador,

L0:Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia,

L0:Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia,

L0:Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania,

L0:Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia,

L0:South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands,

L0:Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the

L0:Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0: ?Designated country end product? means a WTO GPA country end product, a Free Trade Agreement country end product,

L0:a least developed country end product, or a Caribbean Basin country end product.

L0: ?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0: ?Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except

L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself.

L0: ?Least developed country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in a least developed country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except

L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself.

L0:?Nondesignated country end product? means any end product that is not a U.S.-made end product or a designated country

L0:end product.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:

L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost

L0:of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States; or

L1:(ii) The end product is a COTS item.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L0:U.S.-made end product? means an article that?

L1:(1) Is mined, produced, or manufactured in the United States; or

L1:(2) Is substantially transformed in the United States into a new and different article of commerce with a name, character, or

L0:use distinct from that of the article or articles from which it was transformed.

L0:WTO GPA country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in a WTO GPA country into a new and different article of commerce with a name, character, or use distinct

L0:from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a

L0:supply contract, but for purposes of calculating the value of the end product includes services (except transportation

L0:services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only U.S.-made, qualifying country, or designated country end products

L0:unless?

L1:(1) In its offer, the Contractor specified delivery of other nondesignated country end products in the Trade Agreements

L0:Certificate provision of the solicitation; and

L1:(2)(i) Offers of U.S.-made, qualifying country, or designated country end products from responsive, responsible offerors

L0:are either not received or are insufficient to fill the Government's requirements; or

L1:(ii) A national interest waiver has been granted.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L1:(e) The HTSUS is available at <http://www.usitc.gov/tata/hts/bychapter/index.htm>. The following sections of the HTSUS

L0:provide information regarding duty-free status of articles specified in the definition of Caribbean Basin country end

L0:product? within paragraph (a) of this clause:

L1:(1) General Note 3(c), Products Eligible for Special Tariff Treatment.

L1:(2) General Note 17, Products of Countries Designated as Beneficiary Countries Under the United States-Caribbean Basin

L0:Trade Partnership Act of 2000.

L1:(3) Section XXII, Chapter 98, Subchapter II, Articles Exported and Returned, Advanced or Improved Abroad, U.S. Note

L0:7(b).

L1:(4) Section XXII, Chapter 98, Subchapter XX, Goods Eligible for Special Tariff Benefits Under the United StatesCaribbean Basin Trade Partnership Act.

L0:(End of clause)

L0:Alternate IV. As prescribed in 225.1101(6) and (6)(iv), use the following clause, which (i) includes, in the definition of L0:qualifying country end product? at paragraph (2)(i), the domestic content threshold that will apply to the entire contract

L0:period of performance; (ii) adds ?South Caucasus/Central and South Asian (SC/CASA) state? and ?South Caucasus/Central

L0:and South Asian (SC/CASA) state end product? to paragraph (a); (iii) uses a different paragraph (c) than the basic clause;

L1:(iv) adds a new paragraph (d); and (v) includes paragraphs (e) and (f) which are the same paragraphs (d) and (e) of the

L0:basic clause:

L0:TRADE AGREEMENTS?ALTERNATE IV (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:Caribbean Basin country end product??

L1:(1) Means an article that?

L1:(i) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(ii) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in a Caribbean Basin country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself; and

L1:(2) Excludes products, other than petroleum and any product derived from petroleum, that are not granted duty-free L0:treatment under the Caribbean Basin Economic Recovery Act (19 U.S.C. 2703(b)). These exclusions presently consist of?

L1:(i) Textiles, apparel articles, footwear, handbags, luggage, flat goods, work gloves, leather wearing apparel, and L0:handloomed, handmade, or folklore articles that are not granted duty-free status in the Harmonized Tariff Schedule of the

L0:United States (HTSUS);

L1:(ii) Tuna, prepared or preserved in any manner in airtight containers; and

L1:(iii) Watches and watch parts (including cases, bracelets, and straps) of whatever type, including, but not limited to, L0:mechanical, quartz digital, or quartz analog, if such watches or watch parts contain any material that is the product of any

L0:country to which the HTSUS column 2 rates of duty (HTSUS General Note 3(b)) apply.

L0:Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of commercial product in section 2.101 of the L0:Federal Acquisition Regulation);

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:Component? means an article, material, or supply incorporated directly into an end product.

L0:Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia,

L0:Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania,

L0:Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal,

L0:Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade

L0:Organization as the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or

L0:the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador,

L0:Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia,

L0:Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, East Timor, Equatorial Guinea,

L0:Eritrea, Ethiopia, Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Maldives,

L0:Mali, Mauritania, Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon

L0:Islands, Somalia, Tanzania, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands,

L0:Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the

L0:Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:Designated country end product? means a WTO GPA country end product, a Free Trade Agreement country end product,

L0:a least developed country end product, or a Caribbean Basin country end product.

L0:End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself.

L0:?Least developed country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in a least developed country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself.

L0:?Nondesignated country end product? means any end product that is not a U.S.-made end product or a designated country

L0:end product.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:

L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost

L0:of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States; or

L1:(ii) The end product is a COTS item.

L0:?South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan,

L0:Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:?South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from

L0:that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a

L0:supply contract, but for purposes of calculating the value of the end product includes services (except transportation

L0:services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L0:?U.S.-made end product? means an article that?

L1:(1) Is mined, produced, or manufactured in the United States; or

L1:(2) Is substantially transformed in the United States into a new and different article of commerce with a name, character, or

L0:use distinct from that of the article or articles from which it was transformed.

L0: ?WTO GPA country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in a WTO GPA country into a new and different article of commerce with a name, character, or use distinct

L0: from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a

L0: supply contract, but for purposes of calculating the value of the end product includes services (except transportation L0: services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0: product itself.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only U.S.-made, qualifying country, SC/CASA state, or designated

L0: country end products unless?

L1:(1) In its offer, the Contractor specified delivery of other nondesignated country end products in the Trade Agreements

L0: Certificate provision of the solicitation; and

L1:(2)(i) Offers of U.S.-made, qualifying country, SC/CASA state, or designated country end products from responsive, L0: responsible offerors are either not received or are insufficient to fill the Government's requirements; or

L1:(ii) A national interest waiver has been granted.

L1:(d) If the Contractor is from an SC/CASA state, the Contractor shall inform its government of its participation in this L0: acquisition and that it generally will not have such opportunity in the future unless its government provides reciprocal L0: procurement opportunities to U.S. products and services and suppliers of such products and services.

L1:(e) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0: entry.

L1:(f) The HTSUS is available at <http://www.usitc.gov/tata/hts/bychapter/index.htm>. The following sections of the HTSUS

L0: provide information regarding duty-free status of articles specified in the definition of ?Caribbean Basin country end L0: product? within paragraph (a) of this clause:

L1:(1) General Note 3(c), Products Eligible for Special Tariff Treatment.

L1:(2) General Note 17, Products of Countries Designated as Beneficiary Countries Under the United States?Caribbean

L0: Basin Trade Partnership Act of 2000.

L1:(3) Section XXII, Chapter 98, Subchapter II, Articles Exported and Returned, Advanced or Improved Abroad, U.S. Note

L0: 7(b).

L1:(4) Section XXII, Chapter 98, Subchapter XX, Goods Eligible for Special Tariff Benefits Under the United States?

L0: Caribbean Basin Trade Partnership Act.

L0: (End of clause)

252.225-7023 Preference for Products or Services from Afghanistan

Status: active

L0:252.225-7023 Preference for Products or Services from Afghanistan.

L0:As prescribed in 225.7703-4 (a), use the following provision:

L0:PREFERENCE FOR PRODUCTS OR SERVICES FROM AFGHANISTAN (SEP 2013)

L1:(a) Definitions. "Product from Afghanistan" and "service from Afghanistan," as used in this provision, are defined in the

L0:clause of this solicitation entitled "Requirement for Products or Services from Afghanistan" (DFARS 252.225-7024).

L1:(b) Representation. The offeror represents that all products or services to be delivered under a contract resulting from this

L0:solicitation are products from Afghanistan or services from Afghanistan, except those listed in?

L1:(1) Paragraph (c) of this provision; or

L1:(2) Paragraph (c)(2) of the provision entitled "Trade Agreements Certificate," if included in this solicitation.

L1:(c) Other products or services. The following offered products or services are not products from Afghanistan or services

L0:from Afghanistan:

L0:(Line Item Number) (Country of Origin)

L1:(d) Evaluation. For the purpose of evaluating competitive offers, the Contracting Officer will increase by 50 percent the

L0:prices of offers of products or services that are not products or services from Afghanistan.

L0:(End of provision)

252.225-7024 Requirement for Products or Services from Afghanistan

Status: active

L0:252.225-7024 Requirement for Products or Services from Afghanistan.

L0:As prescribed in 225.7703-4 (b), use the following clause:

L0:REQUIREMENT FOR PRODUCTS OR SERVICES FROM AFGHANISTAN (SEP 2013)

L1:(a) Definitions. As used in this clause?

L1:(1) "Product from Afghanistan" means a product that is mined, produced, or manufactured in Afghanistan.

L1:(2) "Service from Afghanistan" means a service including construction that is performed in Afghanistan predominantly by

L0:citizens or permanent resident aliens of Afghanistan.

L1:(b) The Contractor shall provide only products from Afghanistan or services from Afghanistan under this contract, unless,

L0:in its offer, it specified that it would provide products or services other than products from Afghanistan or services from

L0:Afghanistan.

L0:(End of clause)

252.225-7025 Restriction on Acquisition of Forgings

Status: active

L0:252.225-7025 Restriction on Acquisition of Forgings.

L0:As prescribed in 225.7102-4 , use the following clause:

L0:RESTRICTION ON ACQUISITION OF FORGINGS (DEC 2009)

L1:(a) Definitions. As used in this clause?

L1:(1) ?Component? means any item supplied to the Government as part of an end product or of another component.

L1:(2) ?Domestic manufacture? means manufactured in the United States, its outlying areas; or Canada.

L1:(3) ?Forging items? means?

L0:ITEMS

L0:CATEGORIES

L0:Ship propulsion shafts

L0:Excludes service and landing craft shafts

L0:Periscope tubes

L0:All

L0:Ring forgings for bull gears

L0:All greater than 120 inches in diameter

L1:(b) End products and their components delivered under this contract shall contain forging items that are of domestic

L0:manufacture only.

L1:(c) The restriction in paragraph (b) of this clause may be waived upon request from the Contractor in accordance with

L0:subsection 225.7102-3 of the Defense Federal Acquisition Regulation Supplement.

L1:(d) The Contractor shall retain records showing compliance with the restriction in paragraph (b) of this clause until 3 years

L0:after final payment and shall make the records available upon request of the Contracting Officer.

L1:(e) The Contractor shall insert the substance of this clause, including this paragraph (e), in subcontracts for forging items or

L0:for other items that contain forging items.

L0:(End of clause)

252.225-7026 Acquisition Restricted to Products or Services from Afghanistan

Status: active

L0:252.225-7026 Acquisition Restricted to Products or Services from Afghanistan.

L0:As prescribed in 225.7703-4 (c), use the following clause:

L0:ACQUISITION RESTRICTED TO PRODUCTS OR SERVICES FROM AFGHANISTAN (SEP 2013)

L1:(a) Definitions. As used in this clause?

L1:(1) ?Product from Afghanistan? means a product that is mined, produced, or manufactured in Afghanistan.

L1:(2) ?Service from Afghanistan? means a service including construction that is performed in Afghanistan predominantly by

L0:citizens or permanent resident aliens of Afghanistan.

L1:(b) The Contractor shall provide only products from Afghanistan or services from Afghanistan under this contract.

L0:(End of clause)

252.225-7027 Restriction on Contingent Fees for Foreign Military Sales

Status: active

L0:252.225-7027 Restriction on Contingent Fees for Foreign Military Sales.

L0:As prescribed in 225.7307 (a), use the following clause.

L0:RESTRICTION ON CONTINGENT FEES FOR FOREIGN MILITARY SALES (APR 2003)

L1:(a) Except as provided in paragraph (b) of this clause, contingent fees, as defined in the Covenant Against Contingent Fees

L0:clause of this contract, are generally an allowable cost, provided the fees are paid to?

L1:(1) A bona fide employee of the Contractor; or

L1:(2) A bona fide established commercial or selling agency maintained by the Contractor for the purpose of securing L0:business.

L1:(b) For foreign military sales, unless the contingent fees have been identified and payment approved in writing by the

L0:foreign customer before contract award, the following contingent fees are unallowable under this contract:

L1:(1) For sales to the Government(s) of _____, contingent fees in any amount.

L1:(2) For sales to Governments not listed in paragraph (b)(1) of this clause, contingent fees exceeding \$50,000 per foreign

L0:military sale case.

L0:(End of clause)

252.225-7028 Exclusionary Policies and Practices of Foreign Governments

Status: active

L0:252.225-7028 Exclusionary Policies and Practices of Foreign Governments.

L0:As prescribed in 225.7307 (b), use the following clause:

L0:EXCLUSIONARY POLICIES AND PRACTICES OF FOREIGN GOVERNMENTS (APR 2003)

L0:The Contractor and its subcontractors shall not take into account the exclusionary policies or practices of any foreign

L0:government in employing or assigning personnel, if?

L1:(a) The personnel will perform functions required by this contract, either in the United States or abroad; and

L1:(b) The exclusionary policies or practices of the foreign government are based on race, religion, national origin, or sex.

L0:(End of clause)

252.225-7029 Acquisition of Uniform Components for Afghan Military or Afghan National Police

Status: active

L0:252.225-7029 Acquisition of Uniform Components for Afghan Military or Afghan National Police.

L0:As prescribed in 225.7703-4 (d), use the following clause:

L0:ACQUISITION OF UNIFORM COMPONENTS FOR AFGHAN MILITARY OR AFGHAN NATIONAL POLICE (SEP
L0:2013)

L1:(a) Definitions. As used in this clause?

L0:Textile component? means any item consisting of fibers, yarns, or fabric, supplied for incorporation into a uniform or a

L0:component of a uniform. It does not include items that do not contain fibers, yarns, or fabric, such as the metallic or

plastic

L0:elements of buttons, zippers, or other clothing fasteners.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) As required by section 826 of the National Defense Authorization Act for Fiscal Year 2013 (Pub. L. 112-239), the

L0:Contractor shall deliver under this contract only textile components that have been produced in the United States.

L1:(c) There are no exceptions or waivers to this requirement.

L0:(End of clause)

252.225-7030 Restriction on Acquisition of Carbon, Alloy, and Armor Steel Plate

Status: active

L0:252.225-7030 Restriction on Acquisition of Carbon, Alloy, and Armor Steel Plate.

L0:As prescribed in 225.7011-3 , use the following clause:

L0:RESTRICTION ON ACQUISITION OF CARBON, ALLOY, AND ARMOR STEEL PLATE (DEC 2006)

L1:(a) Carbon, alloy, and armor steel plate shall be melted and rolled in the United States or Canada if the carbon, alloy, or

L0:armor steel plate?

L1:(1) Is in Federal Supply Class 9515 or is described by specifications of the American Society for Testing Materials or the

L0:American Iron and Steel Institute; and

L1:(2)(i) Will be delivered to the Government for use in a Government-owned facility or a facility under the control of the

L0:Department of Defense; or

L1:(ii) Will be purchased by the Contractor for use in a Government-owned facility or a facility under the control of the

L0:Department of Defense.

L1:(b) This restriction?

L1:(1) Applies to the acquisition of carbon, alloy, or armor steel plate as a finished steel mill product that may be used ?as is?

L0:or may be used as an intermediate material for the fabrication of an end product; and

L1:(2) Does not apply to the acquisition of an end product (e.g., a machine tool), to be used in the facility, that contains

L0:carbon, alloy, or armor steel plate as a component.

L0:(End of clause)

252.225-7031 Secondary Arab Boycott of Israel

Status: active

L0:252.225-7031 Secondary Arab Boycott of Israel.

L0:As prescribed in 225.7605 , use the following provision:

L0:SECONDARY ARAB BOYCOTT OF ISRAEL (JUN 2005)

L1:(a) Definitions. As used in this provision?

L1:(1) ?Foreign person? means any person (including any individual, partnership, corporation, or other form of association)

L0:other than a United States person.

L1:(2) ?United States? means the 50 States, the District of Columbia, outlying areas, and the outer Continental Shelf as

L0:defined in 43 U.S.C. 1331.

L1:(3) ?United States person? is defined in 50 U.S.C. App. 2415(2) and means?

L1:(i) Any United States resident or national (other than an individual resident outside the United States who is employed by

L0:other than a United States person);

L1:(ii) Any domestic concern (including any permanent domestic establishment of any foreign concern); and

L1:(iii) Any foreign subsidiary or affiliate (including any permanent foreign establishment) of any domestic concern that is

L0:controlled in fact by such domestic concern.

L1:(b) Certification. If the offeror is a foreign person, the offeror certifies, by submission of an offer, that it?

L1:(1) Does not comply with the Secondary Arab Boycott of Israel; and

L1:(2) Is not taking or knowingly agreeing to take any action, with respect to the Secondary Boycott of Israel by Arab

L0:countries, which 50 U.S.C. App. 2407(a) prohibits a United States person from taking.

L0:(End of provision)

252.225-7032 Waiver of United Kingdom Levies?Evaluation of Offers

Status: active

L0:252.225-7032 Waiver of United Kingdom Levies?Evaluation of Offers.

L0:As prescribed in 225.1101 (7), use the following provision:

L0:WAIVER OF UNITED KINGDOM LEVIES - EVALUATION OF OFFERS (APR 2003)

L1:(a) Offered prices for contracts or subcontracts with United Kingdom (U.K.) firms may contain commercial exploitation

L0:levies assessed by the Government of the U.K. The offeror shall identify to the Contracting Officer all levies included in

L0:the offered price by describing?

L1:(1) The name of the U.K. firm;

L1:(2) The item to which the levy applies and the item quantity; and

L1:(3) The amount of levy plus any associated indirect costs and profit or fee.

L1:(b) In the event of difficulty in identifying levies included in a price from a prospective subcontractor, the offeror may seek

L0:advice through the Director of Procurement, United Kingdom Defence Procurement Office, British Embassy, 3100

L0:Massachusetts Avenue NW, Washington, DC 20006.

L1:(c) The U.S. Government may attempt to obtain a waiver of levies pursuant to the U.S./U.K. reciprocal waiver agreement

L0:of July 1987.

L1:(1) If the U.K. waives levies before award of a contract, the Contracting Officer will evaluate the offer without the levy.

L1:(2) If levies are identified but not waived before award of a contract, the Contracting Officer will evaluate the offer

L0:inclusive of the levies.

L1:(3) If the U.K. grants a waiver of levies after award of a contract, the U.S. Government reserves the right to reduce the

L0:contract price by the amount of the levy waived plus associated indirect costs and profit or fee.

L0:(End of provision)

252.225-7033 Waiver of United Kingdom Levies

Status: active

L0:252.225-7033 Waiver of United Kingdom Levies.

L0:As prescribed in 225.1101 (8), use the following clause:

L0:WAIVER OF UNITED KINGDOM LEVIES (APR 2003)

L1:(a) The U.S. Government may attempt to obtain a waiver of any commercial exploitation levies included in the price of this

L0:contract, pursuant to the U.S./United Kingdom (U.K.) reciprocal waiver agreement of July 1987. If the U.K. grants a L0:waiver of levies included in the price of this contract, the U.S. Government reserves the right to reduce the contract price

L0:by the amount of the levy waived plus associated indirect costs and profit or fee.

L1:(b) If the Contractor contemplates award of a subcontract exceeding \$1 million to a U.K. firm, the Contractor shall provide

L0:the following information to the Contracting Officer before award of the subcontract:

L1:(1) Name of the U.K. firm.

L1:(2) Prime contract number.

L1:(3) Description of item to which the levy applies.

L1:(4) Quantity being acquired.

L1:(5) Amount of levy plus any associated indirect costs and profit or fee.

L1:(c) In the event of difficulty in identifying levies included in a price from a prospective subcontractor, the Contractor may

L0:seek advice through the Director of Procurement, United Kingdom Defence Procurement Office, British Embassy, 3100

L0:Massachusetts Avenue NW, Washington, DC 20006.

L1:(d) The Contractor shall insert the substance of this clause, including this paragraph (d), in any subcontract for supplies

L0:where a lower-tier subcontract exceeding \$1 million with a U.K. firm is anticipated.

L0:(End of clause)

252.225-7035 Buy American?Free Trade Agreements?Balance of Payments Program Certificate

Status: active

L0:252.225-7035 Buy American?Free Trade Agreements?Balance of Payments Program Certificate.

L0:Basic. As prescribed in 225.1101 (9) and (9)(i), use the following provision:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?

L0:BASIC (FEB 2024)

L1:(a) Definitions. ?Bahraini end product,? ?commercially available off-the-shelf (COTS) item,? ?component,? ?critical

L0:component,? ?critical item,??domestic end product,? ?Free Trade Agreement country,? ?Free Trade Agreement country end

L0:product,? ?foreign end product,? ?Moroccan end product,? ?Panamanian end product,? ?Peruvian end product,? ?qualifying

L0:country end product,? and ?United States,? as used in this provision, have the meanings given in the 252.225-7036,

Buy

L0:American?Free Trade Agreements?Balance of Payments Program?Basic clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition

L0:Regulation Supplement; and

L1:(2) For line items subject to Buy American?Free Trade Agreements?Balance of Payments Program?Basic clause of this

L0:solicitation, will evaluate offers of qualifying country end products or Free Trade Agreement country end products other

L0:than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products without regard to

L0:the restrictions of the Buy American or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Basic clause

L0:of this solicitation, the Offeror certifies that?

L1:(i) Each end product, except the end products listed in paragraph (c)(2) of this provision, is a domestic end product; and

L1:(ii) Each domestic end product listed in paragraph (c)(3) of this provision contains a critical component or a critical item;

L0:and

L1:(iii) Components of unknown origin are considered to have been mined, produced, or manufactured outside the United

L0:States or a qualifying country.

L1:(2) The Offeror shall identify all end products that are not domestic end products.

L0:(Line Item Number) (Country of Origin)

L1:(ii) The Offeror certifies that the following supplies are Free Trade Agreement country end products other than Bahraini

L0:end products, Moroccan end products, Panamanian end products or Peruvian end products:

L0:(Line Item Number) (Country of Origin)

L1:(iii) The following supplies are other foreign end products, including end products manufactured in the United States that

L0:do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron

L0:or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent

L0:domestic content, except those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.

L0:Line Item Number

L0:Country of Origin (If known)

L0:Exceeds 55% Domestic Content (yes/no)

L1:(3) The Offeror shall list the line item numbers of domestic end products that contain a critical component or a critical item

L0:(see section 25.105 of the Federal Acquisition Regulation).

L0:Line Item Number: _____List as necessary_____

L0:(End of provision)

L0:Alternate I. As prescribed in 225.1101(9) and (9)(ii), use the following provision, which does not use the phrases ?Bahraini

L0:end product,? ?Free Trade Agreement country,? ?Free Trade Agreement country end product,? ?Moroccan end product,?

L0:?Panamanian end product,? and ?Peruvian end products? in paragraph (a); does not use ?Free Trade Agreement country

L0:end products other than Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end

L0:products? in paragraphs (b)(2) and (c)(2)(ii); does not use ?Australian or? in paragraph (c)(2)(i); and includes ?that are

L0:mined, produced, or manufactured in the United States? in paragraph (c)(2)(ii):

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?

L0:ALTERNATE I (FEB 2024)

L1:(a) Definitions. ?Commercially available off-the-shelf (COTS) item,? ?component,? ?critical component,? ?critical item,?

L0:?domestic end product,? ?foreign end product,? ?qualifying country end product,? and ?United States,? as used in this

L0:provision, have the meanings given in the 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments

L0:Program?Alternate I clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition

L0:Regulation Supplement; and

L1:(2) For line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate I

L0:clause of this solicitation, will evaluate offers of qualifying country end products without regard to the restrictions of the

L0:Buy American or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate I

L0:clause of this solicitation, the Offeror certifies that?

L1:(i) Each end product, except the end products listed in paragraph (c)(2) of this provision, is a domestic end product; and

L1:(ii) Each domestic end product listed in paragraph (c)(3) of this provision contains a critical component or a critical item;

L0:and

L1:(iii) Components of unknown origin are considered to have been mined, produced, or manufactured outside the United

L0:States or a qualifying country.

L1:(2) The Offeror shall identify all end products that are not domestic end products.

L1:(i) The Offeror certifies that the following supplies are qualifying country end products:

L0:(Line Item Number) (Country of Origin)

L1:(ii) The following supplies are other foreign end products, including end products manufactured in the United States that

L0:do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron

L0:or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent

L0:domestic content, except those that are COTS items that are mined, produced, or manufactured in the United States. If the

L0:percentage of the domestic content is unknown, select ?no?.

L0:Line Item Number

L0:Country of Origin (If known)

L0:Exceeds 55% Domestic Content (yes/no)

L1:(3) The Offeror shall list the line item numbers of domestic end products that contain a critical component or a critical item

L0:(see section 25.105 of the Federal Acquisition Regulation).

L0:Line Item Number: _____ List as necessary_____

L0:(Line Item Number) (Country of Origin (If known))

L0:(End of provision)

L0:Alternate II. As prescribed in 225.1101 (9) and (9)(iii), use the following provision, which adds ?South Caucasus/Central

L0:and South Asian (SC/CASA) state? and ?South Caucasus/Central and South Asian (SC/CASA) state end product? to

L0:paragraph (a), and uses different paragraphs (b)(2) and (c)(2)(i) than the basic provision:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?

L0:ALTERNATE II (FEB 2024)

L1:(a) Definitions. ?Bahraini end product,? ?commercially available off-the-shelf (COTS) item,? ?component,? ?critical

L0:component,? ?critical item,? ?domestic end product,? ?Free Trade Agreement country,? ?Free Trade Agreement country

L0:end product,? ?foreign end product,? ?Moroccan end product,? ?Panamanian end product,? ?Peruvian end product,?

L0:?qualifying country end product,? ?South Caucasus/Central and South Asian (SC/CASA) state,? ?South Caucasus/Central

L0:and South Asian (SC/CASA) state end product,? and ?United States,? as used in this provision, have the meanings given in

L0:the 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program?Alternate II clause of this L0:solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition

L0:Regulation Supplement; and

L1:(2) For line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate II

L0:clause of this solicitation, will evaluate offers of qualifying country end products, SC/CASA state end products, or Free

L0:Trade Agreement country end products other than Bahraini end products, Moroccan end products, Panamanian end

L0:products, or Peruvian end products without regard to the restrictions of the Buy American or the Balance of Payments

L0:Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate II

L0:clause of this solicitation, the Offeror certifies that?

L1:(i) Each end product, except the end products listed in paragraph (c)(2) of this provision, is a domestic end product; and

L1:(ii) Each domestic end product listed in paragraph (c)(3) of this provision contains a critical component or a critical item;

L0:and

L1:(iii) Components of unknown origin are considered to have been mined, produced, or manufactured outside the United

L0:States or a qualifying country.

L1:(2) The Offeror shall identify all end products that are not domestic end products.

L1:(i) The Offeror certifies that the following supplies are qualifying country (except Australian) or SC/CASA state end

L0:products:

L0:(Line Item Number) (Country of Origin)

L1:(ii) The Offeror certifies that the following supplies are Free Trade Agreement country end products other than Bahraini

L0:end products, Moroccan end products, Panamanian end products, or Peruvian end products:

L0:(Line Item Number) (Country of Origin)

L1:(iii) The following supplies are other foreign end products, including end products manufactured in the United States that

L0:do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron

L0:or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent

L0:domestic content, except those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.

L0:Line Item Number

L0:Country of Origin (If known)

L0:Exceeds 55% Domestic Content (yes/no)

L1:(3) The Offeror shall list the line item numbers of domestic end products that contain a critical component or a critical item

L0:(see section 25.105 of the Federal Acquisition Regulation).

L0:Line Item Number: _____List as necessary_____

L0:(End of provision)

L0:Alternate III. As prescribed in 225.1101 (9) and (9)(iv), use the following provision, which uses different paragraphs (a),

L1:(b)(2), (c)(2)(i), and (c)(2)(ii) than the basic provision:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?

L0:ALTERNATE III (FEB 2024)

L1:(a) Definitions. ?Commercially available off-the-shelf (COTS) item,? ?component,? ?critical component,? ?critical item,?

L0:?domestic end product,? ?foreign end product,? ?qualifying country end product,? ?South Caucasus/Central and South

L0:Asian (SC/CASA) state end product,? and ?United States,? as used in this provision have the meanings given in the L0:252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program?Alternate III clause of this L0:solicitation.

L1:(b) Evaluation. The Government?

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate III

L0:clause of this solicitation, the Offeror certifies that?

L1:(2) For line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate III

L0:clause of this solicitation, will evaluate offers of qualifying country end products or SC/CASA state end products without

L0:regard to the restrictions of the Buy American or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate III

L0:clause of this solicitation, the offeror certifies that?

L1:(i) Each end product, except the end products listed in paragraph (c)(2) of this provision, is a domestic end product;

L1:(ii) Each domestic end product listed in paragraph (c)(3) of this provision contains a critical component or a critical item;

L0:and

L1:(iii) Components of unknown origin are considered to have been mined, produced, or manufactured outside the United

L0:States or a qualifying country.

L1:(2) The Offeror shall identify all end products that are not domestic end products.

L1:(i) The Offeror certifies that the following supplies are qualifying country or SC/CASA state end products:

L0:(Line Item Number) (Country of Origin)

L1:(ii) The Offeror certifies that the following supplies are Free Trade Agreement country end products other than Bahraini

L0:end products, Moroccan end products, Panamanian end products, or Peruvian end products:

L0:(Line Item Number) (Country of Origin)

L1:(iii) The following supplies are other foreign end products, including end products manufactured in the United States that

L0:do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron

L0:or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent

L0:domestic content, except those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.

L0:Line item Number

L0:Country of Origin (If known)

L0:Exceeds 55% Domestic Content (yes/no)

L1:(3) The Offeror shall list the line item numbers of domestic end products that contain a critical component or a critical

item

L0:(see section 25.105 of the Federal Acquisition Regulation).

L0:Line Item Number: _____ List as necessary _____

L0:(End of provision)

L0:Alternate IV. As prescribed in 225.1101(9) and (9)(v), use the following provision, which adds Korean end product to L0:paragraph (a); and uses ?Free Trade Agreement country end products other than Bahraini end products, Korean end

L0:products, Moroccan end products, Panamanian end products, or Peruvian end products? in paragraphs (b)(2) and (c)(2)(ii),

L0:rather than ?Free Trade Agreement country end products other than Bahraini end products, Moroccan end products, L0:Panamanian end products, or Peruvian end products? in paragraphs (b)(2) and (c)(2)(ii) of the basic provision:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?

L0:ALTERNATE IV (FEB 2024)

L1:(a) Definitions. ?Bahraini end product,? ?commercially available off-the-shelf (COTS) item,? ?component,? ?critical L0:component,? ?critical item,? ?domestic end product,? ?Free Trade Agreement country,? ?Free Trade Agreement country

L0:end product,? ?foreign end product,? ?Korean end product,? ?Moroccan end product,? ?Panamanian end product,?

L0:?Peruvian end product,? ?qualifying country end product,? and ?United States,? as used in this provision, have the L0:meanings given in the 252.225-7036, Buy American?Free Trade Agreements?Balance of Payments Program?Alternate

L0:IV clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition

L0:Regulation Supplement; and

L1:(2) For line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate IV

L0:clause of this solicitation, will evaluate offers of qualifying country end products or Free Trade Agreement country end

L0:products other than Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or

L0:Peruvian end products without regard to the restrictions of the Buy American or the Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate IV

L0:clause of this solicitation, the Offeror certifies that?

L1:(i) Each end product, except the end products listed in paragraph (c)(2) of this provision, is a domestic end product;

L1:(ii) Each domestic end product listed in paragraph (c)(3) of this provision contains a critical component or a critical item;

L0:and

L1:(iii) Components of unknown origin are considered to have been mined, produced, or manufactured outside the United

L0:States or a qualifying country.

L1:(2) The Offeror shall identify all end products that are not domestic end products.

L1:(i) The Offeror certifies that the following supplies are qualifying country (except Australian) end products:

L0:(Line Item Number) (Country of Origin)

L1:(ii) The Offeror certifies that the following supplies are Free Trade Agreement country end products other than Bahraini

L0:end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products:

L0:(Line Item Number) (Country of Origin)

L1:(iii) The following supplies are other foreign end products, including end products manufactured in the United States that

L0:do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron

L0:or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent

L0:domestic content, except those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.

L0:Line item Number

L0:Country of Origin (If known)

L0:Exceeds 55% Domestic Content (yes/no)

L1:(3) The Offeror shall list the line item numbers of domestic end products that contain a critical component or a critical item

L0:(see section 25.105 of the Federal Acquisition Regulation).

L0:Line Item Number: _____ List as necessary _____

L0:(End of provision)

L0:Alternate V. As prescribed in 225.1101 (9) and (9)(vi), use the following provision, which uses different paragraphs (a), (b)

L1:(2), (c)(2)(i), and (c)(2)(ii) than the basic provision:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM CERTIFICATE?

L0:ALTERNATE V (FEB 2024)

L1:(a) Definitions. ?Bahraini end product,? ?commercially available off-the-shelf (COTS) item,? ?component,? ?critical

L0:component,? ?critical item,? ?domestic end product,? ?Free Trade Agreement country,? ?Free Trade Agreement country

L0:end product,? ?foreign end product,? ?Korean end product,? ?Moroccan end product,? ?Panamanian end product,?

L0:?Peruvian end product,? ?qualifying country end product,? ?South Caucasus/Central and South Asian (SC/CASA) state end

L0:product,? and ?United States,? as used in this provision, have the meanings given in the 252.225-7036, Buy American?

L0:Free Trade Agreements?Balance of Payments Program?Alternate V clause of this solicitation.

L0:Alternate V clause of this solicitation.

L1:(b) Evaluation. The Government?

L1:(1) Will evaluate offers in accordance with the policies and procedures of part 225 of the Defense Federal Acquisition

L0:Regulation Supplement; and

L1:(2) For line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate V

L0:clause of this solicitation, will evaluate offers of qualifying country end products, SC/CASA state end products, or Free

L0:Trade Agreement end products other than Bahraini end products, Korean end products, Moroccan end products,

L0:Panamanian end products, or Peruvian end products without regard to the restrictions of the Buy American statute or the

L0:Balance of Payments Program.

L1:(c) Certifications and identification of country of origin.

L1:(1) For all line items subject to the Buy American?Free Trade Agreements?Balance of Payments Program?Alternate V

L0:clause of this solicitation, the Offeror certifies that?

L1:(i) Each end product, except the end products listed in paragraph (c)(2) of this provision, is a domestic end product;

L1:(ii) Each domestic end product listed in paragraph (c)(3) of this provision contains a critical component or a critical item;

L0:and

L1:(iii) Components of unknown origin are considered to have been mined, produced, or manufactured outside the United

L0:States or a qualifying country.

L1:(2) The Offeror shall identify all end products that are not domestic end products.

L1:(i) The Offeror certifies that the following supplies are qualifying country (except Australian) or SC/CASA state end

L0:products:

L0:(Line Item Number) (Country of Origin)

L1:(ii) The Offeror certifies that the following supplies are Free Trade Agreement country end products other than Bahraini

L0:end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products:

L0:(Line Item Number) (Country of Origin)

L1:(iii) The following supplies are other foreign end products, including end products manufactured in the United States that

L0:do not qualify as domestic end products. For those foreign end products that do not consist wholly or predominantly of iron

L0:or steel or a combination of both, the Offeror shall also indicate whether these foreign end products exceed 55 percent

L0:domestic content, except those that are COTS items. If the percentage of the domestic content is unknown, select ?no?.

L0:Line item Number

L0:Country of Origin (If known)

L0:Exceeds 55% Domestic Content (yes/no)

L1:(3) The Offeror shall list the line item numbers of domestic end products that contain a critical component or a critical item

L0:(see section 25.105 of the Federal Acquisition Regulation).

L0:Line Item Number: _____ List as necessary_____

L0:(End of provision)

252.225-7036 Buy American?Free Trade Agreements?Balance of Payments Program

Status: active

L0:252.225-7036 Buy American?Free Trade Agreements?Balance of Payments Program.

L0:Basic. As prescribed in 225.1101 (10)(i) and (10)(i)(A), use the following clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?BASIC (FEB 2024)

L1:(a) Definitions.As used in this clause?

L0:Bahraini end product means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation);

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component ? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product that has been mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the

L0:United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an

L0:alternate percentage is established for a contract in accordance with Defense Federal Acquisition Regulation Supplement

L1:(DFARS) 225.101(d); or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent domestic

L0:content (see DFARS 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation

L0:into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin

L0:are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic.

L0:A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in

L0:fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or

L0:kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or

L0:manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

L0:manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country

L0:constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a

L0:qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a

L0:qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not

L0:produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products

L0:(such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying

L0:country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components

L0:not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown

L0:origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end

L0:product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:Foreign end product? means an end product other than a domestic end product.

L0:Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El

L0:Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself.

L0:?Moroccan end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of

L0:the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply L0:contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or

agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the

L0:percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:starting in calendar year 2029, unless an alternate percentage is established for a contract:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the

United

L0:States; or

L1:(ii) The end product is a COTS item.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of

L0:qualifying country end products, Free Trade Agreement country end products other than Bahraini end products, Moroccan

L0:end products, Panamanian end products, or Peruvian end products, or other foreign end products in the Buy American?

L0:Free Trade Agreements?Balance of Payments Program Certificate?Basic provision of the solicitation. If the Contractor

L0:certified in its offer that it will deliver a qualifying country end product or a Free Trade Agreement country end product

L0:other than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, the

L0:Contractor shall deliver a qualifying country end product, a Free Trade Agreement country end product other than a

L0:Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, or, at the

L0:Contractor's option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L0:(End of clause)

L0:Alternate I. As prescribed in 225.1101 (10)(i) and (10)(i)(B), use the following clause, which uses a different paragraph (c)

L0:than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM? ALTERNATE I (FEB

L0:2024)

L1:(a) Definitions.As used in this clause?

L0:Bahraini end product means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of "commercial product" in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in

L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:"Component" means an article, material, or supply incorporated directly into an end product.

L0:"Critical component" means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:"Critical item" means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:"Domestic end product" means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the

L0:United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an

L0:alternate percentage is established for a contract in accordance with Defense Federal Acquisition Regulation Supplement

L1:(DFARS) 225.101(d); or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent domestic

L0:content (see DFARS 225.103(b)(ii)). The cost of components includes transportation costs to the place of incorporation

L0:into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of unknown origin

L0:are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is considered domestic.

L0:A component is considered to have been mined, produced, or manufactured in the United States (regardless of its source in

L0:fact) if the end product in which it is incorporated is manufactured in the United States and the component is of a class or

L0:kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or

L0:manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

L0:manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country

L0:constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a

L0:qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a

L0:qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not

L0:produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products

L0:(such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying

L0:country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components

L0:not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown

L0:origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end

L0:product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:“End product” means those articles, materials, and supplies to be acquired under this contract for public use.

L0:“Foreign end product” means an end product other than a domestic end product.

L0:“Free Trade Agreement country” means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El

L0:Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:“Free Trade Agreement country end product” means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself.

L0:“Moroccan end product” means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of

L0:the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply L0:contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the

L0:percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:starting in calendar year 2029, unless an alternate percentage is established for a contract:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States; or

L1:(ii) The end product is a COTS item.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of

L0:qualifying country or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments

L0:Program Certificate?Alternate I provision of the solicitation. * * *

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L0:(End of clause)

L0:Alternate II. As prescribed in 225.1101 (10)(i) and (10)(i)(C), use the following clause, which adds ?South

L0:Caucasus/Central and South Asian (SC/CASA) state? and ?South Caucasus/Central and South Asian (SC/CASA) state end

L0:product? to paragraph (a), and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE II

L0:(FEB 2024)

L1:(a) Definitions.As used in this clause?

L0:Bahraini end product means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the

L0:United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an

L0:alternate percentage is established for a contract in accordance with Defense Federal Acquisition Regulation Supplement

L1:(DFARS) 225.101(d)); or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent

L0:domestic content (see DFARS 225.103(b)(ii)). The cost of components includes transportation costs to the place of

L0:incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of

L0:unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is

L0:considered domestic. A component is considered to have been mined, produced, or manufactured in the United States

L0:(regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the

L0:component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or

L0:manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

L0:manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country

L0:constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a

L0:qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a

L0:qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not

L0:produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products

L0:(such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying

L0:country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components

L0:not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown

L0:origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end

L0:product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:Foreign end product? means an end product other than a domestic end product.

L0:Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El

L0:Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except

L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself.

L0:Moroccan end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of

L0:the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply

L0:contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good

faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the

L0:percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items

delivered

L0:starting in calendar year 2029, unless an alternate percentage is established for a contract:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States; or

L1:(ii) The end product is a COTS item.

L0:South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan,

L0:Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from

L0:that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a L0:supply contract, but for purposes of calculating the value of the end product includes services (except transportation L0:services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of

L0:qualifying country end products, SC/CASA state end products, Free Trade Agreement country end products other than

L0:Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products, or other foreign end

L0:products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Alternate II

L0:provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product,

L0:SC/CASA state end products, or a Free Trade Agreement country end product other than a Bahraini end product, a

L0:Moroccan end product, a Panamanian end product, or a Peruvian end product, the Contractor shall deliver a qualifying

L0:country end product, an SC/CASA state end product, a Free Trade Agreement country end product other than a Bahraini

L0:end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product or, at the Contractor's option, a

L0:domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L0:(End of clause)

L0:Alternate III. As prescribed in 225.1101 (10)(i) and (10)(i)(D), use the following clause, which adds?South

L0:Caucasus/Central and South Asian (SC/CASA) state,? and ?South Caucasus/Central and South Asian (SC/CASA) state end

L0:product? to paragraph (a) and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE III

L0:(FEB 2024)

L1:(a) Definitions.As used in this clause?

L0:Bahraini end product means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the

L0:United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029,

unless an

L0:alternate percentage is established for a contract in accordance with Defense Federal Acquisition Regulation Supplement

L1:(DFARS) 225.101(d)); or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent

L0:domestic content (see DFARS 225.103(b)(ii)). The cost of components includes transportation costs to the place of

L0:incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of

L0:unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is

L0:considered domestic. A component is considered to have been mined, produced, or manufactured in the United States

L0:(regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the

L0:component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or

L0:manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

L0:manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country

L0:constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a

L0:qualifying country means that all manufacturing processes of the iron and steel must take place in the United States or a

L0:qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not

L0:produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products

L0:(such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying

L0:country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components

L0:not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown

L0:origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end

L0:product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:Foreign end product? means an end product other than a domestic end product.

L0:Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El

L0:Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:Free Trade Agreement country end product? means an article that?

L1:(i) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(ii) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself.

L0:?Moroccan end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of

L0:the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply L0:contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the

L0:percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:starting in calendar year 2029, unless an alternate percentage is established for a contract:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(C) Components mined, produced, or manufactured in the United States.

L1:(B) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States; or

L1:(ii) The end product is a COTS item.

L0:South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan,

L0:Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from

L0:that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a

L0:supply contract, but for purposes of calculating the value of the end product includes services (except transportation

L0:services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of

L0:qualifying country end products, SC/CASA state end products or other foreign end products in the Buy American?Free

L0:Trade Agreements?Balance of Payments Program Certificate?Alternate III provision of the solicitation. If the Contractor

L0:certified in its offer that it will deliver a qualifying country end product, SC/CASA state end products the Contractor shall

L0:deliver a qualifying country end product, an SC/CASA state end product,or, at the Contractor?s option, a domestic end

L0:product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L0:(End of clause)

L0:Alternate IV. As prescribed in 225.1101 (10)(i) and (10)(i)(E), use the following clause, which adds ?Korean end product?

L0:to paragraph (a), and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE III

L0:(FEB 2024)

L1:(a) Definitions.As used in this clause?

L0:Bahraini end product means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?]

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the

L0:United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an

L0:alternate percentage is established for a contract in accordance with Defense Federal Acquisition Regulation Supplement

L1:(DFARS) 225.101(d)); or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent

L0:domestic content (see DFARS 225.103(b)(ii)). The cost of components includes transportation costs to the place of

L0:incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of

L0:unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is

L0:considered domestic. A component is considered to have been mined, produced, or manufactured in the United States

L0:(regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the

L0:component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or

L0:manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

L0:manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country

L0:constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a

L0:qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a

L0:qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not

L0:produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products

L0:(such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying

L0:country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components

L0:not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown

L0:origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end

L0:product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:?Foreign end product? means an end product other than a domestic end product.

L0:?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El

L0:Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:?Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except

L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed

the

L0:value of the product itself.

L0:Korean end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Korea; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in Korea (Republic of) into a new and different article of commerce with a name, character, or use distinct

L0:from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a

L0:supply contract, but for purposes of calculating the value of the end product, includes services (except transportation

L0:services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:Moroccan end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of

L0:the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply

L0:contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds

50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that the

L0:percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:starting in calendar year 2029, unless an alternate percentage is established for a contract:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of

L0:qualifying country end products, Free Trade Agreement country end products other than Bahraini end products, Korean

L0:end products, Moroccan end products, Panamanian end products, or Peruvian end products, or other foreign end products

L0:in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Alternate IV provision of the

L0:solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product or a Free Trade

L0:Agreement country end product other than a Bahraini end product, a Korean end product, a Moroccan end product, a

L0:Panamanian end product, or a Peruvian end product, the Contractor shall deliver a qualifying country end product, a Free

L0:Trade Agreement country end product other than a Bahraini end product, a Korean end product, a Moroccan end product, a

L0:Panamanian end product, or a Peruvian end product, or, at the Contractor's option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L0:(End of clause)

L0:Alternate V. As prescribed in 225.1101 (10)(i) and (10)(i)(F), use the following clause, which adds ?Korean end product,?

L0:South Caucasus/Central and South Asian (SC/CASA) state,? and ?South Caucasus/Central and South Asian (SC/CASA)

L0:state end product? to paragraph (a), and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE V

L0:(FEB 2024)

L1:(a) Definitions.As used in this clause?

L0:Bahraini end product means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:?Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the

L0:United States exceeds 60 percent of the cost of all its components, except that the percentage will be 65 percent for items

L0:delivered in calendar years 2024 through 2028 and 75 percent for items delivered starting in calendar year 2029, unless an

L0:alternate percentage is established for a contract in accordance with Defense Federal Acquisition Regulation Supplement

L1:(DFARS) 225.101(d)); or award is made before January 1, 2030, for a foreign end product that exceeds 55 percent

L0:domestic content (see DFARS 225.103(b)(ii)). The cost of components includes transportation costs to the place of

L0:incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of

L0:unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States

is

L0:considered domestic. A component is considered to have been mined, produced, or manufactured in the United States

L0:(regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the

L0:component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or

L0:manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

L0:manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country

L0:constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a

L0:qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a

L0:qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not

L0:produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products

L0:(such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying

L0:country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components

L0:not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown

L0:origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end

L0:product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:Foreign end product? means an end product other than a domestic end product.

L0:Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El

L0:Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:Free Trade Agreement country end product? means an article that?

L1:(i) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(ii) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except

L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself.

L0:Korean end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Korea; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Korea (Republic of) into a new and different article of commerce with a name, character, or use distinct

L0:from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a

L0:supply contract, but for purposes of calculating the value of the end product, includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:Moroccan end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of

L0:the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products

(such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds 60 percent of the cost of all its components, except that

the

L0:percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and 75 percent for items delivered

L0:starting in calendar year 2029, unless an alternate percentage is established for a contract :

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan,

L0:Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from

L0:that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a

L0:supply contract, but for purposes of calculating the value of the end product, includes services (except transportation

L0:services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of

L0:qualifying country end products, SC/CASA state end products, Free Trade Agreement country end products other than

L0:Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products,

L0:or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?

L0:Alternate V provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end

L0:product, SC/CASA state end products, or a Free Trade Agreement country end product other than a Bahraini end product, a

L0:Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, the Contractor shall

L0:deliver a qualifying country end product, an SC/CASA state end product, a Free Trade Agreement country end product

L0:other than a Bahraini end product, a Korean end product, a Moroccan end product, a Panamanian end product, or a

L0:Peruvian end product or, at the Contractor's option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L0:(End of clause)

L0:Alternate VI. As prescribed in 225.1101(10) (i) and (10) (i)(G) , use the following clause, which includes, in the L0:definitions of "domestic end product" at paragraph (1)(ii)(A) and "qualifying country end product" at paragraph (2)(i), the

L0:domestic content threshold that will apply to the entire contract period of performance:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS?PROGRAM?ALTERNATE VI

L0:(FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:"Bahraini end product" means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:"Commercially available off-the-shelf (COTS) item"?

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of "commercial product" in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:"Component" means an article, material, or supply incorporated directly into an end product.

L0:"Critical component" means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:"Critical item" means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:"Domestic end product" means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the

L0:United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the

L0:cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year

L0:2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place

L0:of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of

L0:unknown origin are treated as foreign.Scrap generated, collected, and prepared for processing in the United States is

L0:considered domestic. A component is considered to have been mined, produced, or manufactured in the United States

L0:(regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the

L0:component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or

L0:manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

L0:manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country

L0:constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a

L0:qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a

L0:qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not

L0:produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products

L0:(such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying

L0:country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components

L0:not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown

L0:origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end

L0:product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:Foreign end product? means an end product other than a domestic end product.

L0:Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El

L0:Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:Free Trade Agreement country end product? means an article that-

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except

L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself.

L0:Moroccan end product? means an article that-

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of

L0:the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply L0:contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Panamanian end product? means an article that-

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Peruvian end product? means an article that-

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good

faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:

L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of

the cost

L0:of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of

L0:qualifying country end products, Free Trade Agreement country end products other than Bahraini end products, Moroccan

L0:end products, Panamanian end products, or Peruvian end products, or other foreign end products in the Buy American?

L0:Free Trade Agreements?Balance of Payments Program Certificate?Basic provision of the solicitation. If the Contractor

L0:certified in its offer that it will deliver a qualifying country end product or a Free Trade Agreement country end product

L0:other than a Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, the

L0:Contractor shall deliver a qualifying country end product, a Free Trade Agreement country end product other than a

L0:Bahraini end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, or, at the

L0:Contractor's option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L0:(End of clause)

L0:Alternate VII. As prescribed in 225.1101(10)(i) and (10)(i)(H), use the following clause, which includes, in the definitions

L0:of ?domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i), the domestic

L0:content threshold that will apply to the entire contract period of performance and uses a different paragraph (c) than the

L0:basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE VII

L0:(FEB 2024)

L1:(a) Definitions. As used in this clause?

L0: Bahraini end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of "commercial product" in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in

L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:"Component" means an article, material, or supply incorporated directly into an end product.

L0:"Critical component" means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:"Critical item" means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:"Domestic end product" means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the

L0:United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the

L0:cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year

L0:2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place

L0:of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of

L0:unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is

L0:considered domestic. A component is considered to have been mined, produced, or manufactured in the United States

L0:(regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States

and the

L0:component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or

L0:manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

L0:manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country

L0:constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a

L0:qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a

L0:qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not

L0:produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products

L0:(such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying

L0:country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components

L0:not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown

L0:origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end

L0:product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0:“End product” means those articles, materials, and supplies to be acquired under this contract for public use.

L0:“Foreign end product” means an end product other than a domestic end product.

L0:“Free Trade Agreement country” means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El

L0:Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:“Free Trade Agreement country end product” means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except

L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself.

L0:“Moroccan end product” means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of

L0:the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0: ?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0: ?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:

L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost

L0:of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0: ?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0: ?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of

L0:qualifying country or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments

L0:Program Certificate?Alternate I provision of the solicitation. If the Contractor certified in its offer that it will deliver a

L0:qualifying country end product, the Contractor shall deliver a qualifying country end product or, at the Contractor's option,

L0:a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L0:(End of clause)

L0:Alternate VIII. As prescribed in 225.1101(10)(i) and (10)(i)(I), use the following clause, which includes, in the definitions

L0:of ?domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i), the domestic

L0:content threshold that will apply to the entire contract period of performance; adds ?South Caucasus/Central and South

L0:Asian (SC/CASA) state? and ?South Caucasus/Central and South Asian (SC/CASA) state end product? to paragraph (a);

L0:and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE VIII

L0:(FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Bahraini end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in

L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means an article, material, or supply incorporated directly into an end product.

L0:Critical component? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the

L0:United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the

L0:cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year

L0:2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place

L0:of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of

L0:unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is

L0:considered domestic. A component is considered to have been mined, produced, or manufactured in the United States

L0:(regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the

L0:component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or

L0:manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

L0:manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country

L0:constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a

L0:qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a

L0:qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not

L0:produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products

L0:(such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying

L0:country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel

components

L0: not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown

L0: origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end

L0: product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0: ?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0: ?Foreign end product? means an end product other than a domestic end product.

L0: ?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El

L0: Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0: ?Free Trade Agreement country end product? means an article that?

L1: (1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1: (2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0: transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use

L0: distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0: under a supply contract, but for purposes of calculating the value of the end product includes services (except

L0: transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0: value of the product itself.

L0: ?Moroccan end product? means an article that?

L1: (1) Is wholly the growth, product, or manufacture of Morocco; or

L1: (2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0: transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of

L0: the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply

L0: contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0: incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0: ?Panamanian end product? means an article that?

L1: (1) Is wholly the growth, product, or manufacture of Panama; or

L1: (2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0: transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the

L0: article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0: but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0: its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0: ?Peruvian end product? means an article that?

L1: (1) Is wholly the growth, product, or manufacture of Peru; or

L1: (2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:

L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost

L0:of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan,

L0:Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from

L0:that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a

L0:supply contract, but for purposes of calculating the value of the end product includes services (except transportation

L0:services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of

L0:qualifying country end products, SC/CASA state end products, Free Trade Agreement country end products other than

L0:Bahraini end products, Moroccan end products, Panamanian end products, or Peruvian end products, or other foreign end

L0:products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Alternate II

L0:provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product, L0:SC/CASA state end products, or a Free Trade Agreement country end product other than a Bahraini end product, a L0:Moroccan end product, a Panamanian end product, or a Peruvian end product, the Contractor shall deliver a qualifying

L0:country end product, an SC/CASA state end product, a Free Trade Agreement country end product other than a Bahraini

L0:end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product or, at the Contractor's option, a

L0:domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L0:(End of clause)

L0:Alternate IX. As prescribed in 225.1101(10)(i) and (10)(i)(J), use the following clause, which includes in the definitions of

L0:domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i) the domestic L0:content threshold that will apply to the entire contract period of performance; adds ?South Caucasus/Central and L0:SouthAsian (SC/CASA) state? and ?South Caucasus/Central and South Asian (SC/CASA) state end product? to paragraph

L1:(a); and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE IX

L0:(FEB 2024)

L1:(a) Definitions. As used in this clause?

L0: Bahraini end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially L0:transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:Component? means an article, material, or supply incorporated directly into an end product.

L0: "Critical component" means a component that is mined, produced, or manufactured in the United States and deemed

L0: critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0: "Critical item" means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0: chain. The list of critical items is at FAR 25.105.

L0: "Domestic end product" means?

L1: (1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1: (i) An unmanufactured end product mined or produced in the United States; or

L1: (ii) An end product manufactured in the United States if?

L1: (A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the

L0: United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the

L0: cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year

L0: 2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place

L0: of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of

L0: unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is

L0: considered domestic. A component is considered to have been mined, produced, or manufactured in the United States

L0: (regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the

L0: component is of a class or kind for which the Government has determined that?

L1: (1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or

L0: manufactured in the United States; or

L1: (2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1: (B) The end product is a COTS item; or

L1: (2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

L0: manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country

L0: constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a

L0: qualifying country means that all manufacturing processes of the iron and steel must take place in the United States or a

L0: qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not

L0: produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products

L0: (such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying

L0: country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel

components

L0: not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown

L0: origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end

L0: product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this definition.

L0: ?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0: ?Foreign end product? means an end product other than a domestic end product.

L0: ?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El

L0: Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0: ?Free Trade Agreement country end product? means an article that?

L1: (1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1: (2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0: transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use

L0: distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0: under a supply contract, but for purposes of calculating the value of the end product includes services (except

L0: transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0: value of the product itself.

L0: ?Moroccan end product? means an article that?

L1: (1) Is wholly the growth, product, or manufacture of Morocco; or

L1: (2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0: transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of

L0: the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply

L0: contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0: incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0: ?Panamanian end product? means an article that?

L1: (1) Is wholly the growth, product, or manufacture of Panama; or

L1: (2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0: transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the

L0: article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0: but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0: its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0: ?Peruvian end product? means an article that?

L1: (1) Is wholly the growth, product, or manufacture of Peru; or

L1: (2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:

L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost

L0:of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan,

L0:Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from

L0:that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a

L0:supply contract, but for purposes of calculating the value of the end product includes services (except transportation

L0:services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of

L0:qualifying country end products, SC/CASA state end products, or other foreign end products in the Buy American?Free

L0:Trade Agreements?Balance of Payments Program Certificate?Alternate III provision of the solicitation. If the Contractor

L0:certified in its offer that it will deliver a qualifying country end product or SC/CASA state end products, the Contractor

L0:shall deliver a qualifying country end product, an SC/CASA state end product, or, at the Contractor's option, a domestic

L0:end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L0:(End of clause)

L0:Alternate X. As prescribed in 225.1101(10)(i) and (10)(i)(K), use the following clause, which includes, in the definitions of

L0:domestic end product? at paragraph (1)(ii)(A) and ?qualifying country end product? at paragraph (2)(i), the domestic

L0:content threshold that will apply to the entire contract period of performance; adds ?Korean end product? to paragraph (a);

L0:and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE X

L0:(FEB 2024)

L1:(a) Definitions. As used in this clause?

L0: Bahraini end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in

L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:Component? means an article, material, or supply incorporated directly into an end product.

L0:Critical component? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the

L0:United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the

L0:cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year

L0:2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place

L0:of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of

L0:unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is

L0:considered domestic. A component is considered to have been mined, produced, or manufactured in the United States

L0:(regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the

L0:component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or

L0:manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

L0:manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country

L0:constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a

L0:qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a

L0:qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not

L0:produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products

L0:(such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying

L0:country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components

L0:not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown

L0:origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end

L0:product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this

definition.

L0:End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0:Foreign end product? means an end product other than a domestic end product.

L0:Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El

L0:Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0:Free Trade Agreement country end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use

L0:distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0:under a supply contract, but for purposes of calculating the value of the end product includes services (except

L0:transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0:value of the product itself.

L0:Korean end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Korea; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in Korea (Republic of) into a new and different article of commerce with a name, character, or use distinct

L0:from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a

L0:supply contract, but for purposes of calculating the value of the end product, includes services (except transportation

L0:services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:Moroccan end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Morocco; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of

L0:the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply

L0:contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0:incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:Panamanian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Panama; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services)

incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services)

incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:?Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:?Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:

L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost

L0:of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:?Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:?United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of

L0:qualifying country end products, Free Trade Agreement country end products other than Bahraini end products, Korean

L0:end products, Moroccan end products, Panamanian end products, or Peruvian end products, or other foreign end products

L0:in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?Alternate IV provision of the

L0:solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product or a Free Trade

L0:Agreement country end product other than a Bahraini end product, a Korean end product, a Moroccan end product, a

L0:Panamanian end product, or a Peruvian end product, the Contractor shall deliver a qualifying country end product, a Free

L0:Trade Agreement country end product other than a Bahraini end product, a Korean end product, a Moroccan end

product, a

L0:Panamanian end product, or a Peruvian end product, or, at the Contractor's option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L0:(End of clause)

L0:Alternate XI. As prescribed in 225.1101(10)(i) and (10)(i)(L), use the following clause, which includes, in the definitions

L0:of "domestic end product" at paragraph (1)(ii)(A) and "qualifying country end product" at paragraph (2)(i), the domestic

L0:content threshold that will apply to the entire contract period of performance; adds "Korean end product," "South

L0:Caucasus/Central and South Asian(SC/CASA) state," and "South Caucasus/Central and South Asian (SC/CASA) state end

L0:product"to paragraph (a); and uses a different paragraph (c) than the basic clause:

L0:BUY AMERICAN?FREE TRADE AGREEMENTS?BALANCE OF PAYMENTS PROGRAM?ALTERNATE XI

L0:(FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:"Bahraini end product" means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in Bahrain into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services) incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:"Commercially available off-the-shelf (COTS) item"?

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of "commercial product" in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in

L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:"Component" means an article, material, or supply incorporated directly into an end product.

L0:"Critical component" means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:"Critical item" means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:Domestic end product? means?

L1:(1) For an end product that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured end product mined or produced in the United States; or

L1:(ii) An end product manufactured in the United States if?

L1:(A) The cost of its qualifying country components and its components that are mined, produced, or manufactured in the

L0:United States exceeds, for the entire period of performance for a contract awarded in: calendar year 2023, 60 percent of the

L0:cost of all its components; calendar years 2024 through 2028, 65 percent of the cost of all its components; or calendar year

L0:2029 or later, 75 percent of the cost of all its components. The cost of components includes transportation costs to the place

L0:of incorporation into the end product and U.S. duty (whether or not a duty-free entry certificate is issued). Components of

L0:unknown origin are treated as foreign. Scrap generated, collected, and prepared for processing in the United States is

L0:considered domestic. A component is considered to have been mined, produced, or manufactured in the United States

L0:(regardless of its source in fact) if the end product in which it is incorporated is manufactured in the United States and the

L0:component is of a class or kind for which the Government has determined that?

L1:(1) Sufficient and reasonably available commercial quantities of a satisfactory quality are not mined, produced, or

L0:manufactured in the United States; or

L1:(2) It is inconsistent with the public interest to apply the restrictions of the Buy American statute; or

L1:(B) The end product is a COTS item; or

L1:(2) For an end product that consists wholly or predominantly of iron or steel or a combination of both, an end product

L0:manufactured in the United States, if the cost of iron and steel not produced in the United States or a qualifying country

L0:constitutes less than 5 percent of the cost of all the components used in the end product (produced in the United States or a

L0:qualifying country means that all manufacturing processes of the iron or steel must take place in the United States or a

L0:qualifying country, except metallurgical processes involving refinement of steel additives). The cost of iron and steel not

L0:produced in the United States or a qualifying country includes but is not limited to the cost of iron or steel mill products

L0:(such as bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States or a qualifying

L0:country, utilized in the manufacture of the end product and a good faith estimate of the cost of all iron or steel components

L0:not produced in the United States or a qualifying country, excluding COTS fasteners. Iron or steel components of unknown

L0:origin are treated as foreign. If the end product contains multiple components, the cost of all the materials used in such end

L0:product is calculated in accordance with the explanation of cost of components in paragraph (1)(ii)(A) of this

definition.

L0: ?End product? means those articles, materials, and supplies to be acquired under this contract for public use.

L0: ?Foreign end product? means an end product other than a domestic end product.

L0: ?Free Trade Agreement country? means Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El

L0: Salvador, Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore.

L0: ?Free Trade Agreement country end product? means an article that?

L1: (1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1: (2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0: transformed in a Free Trade Agreement country into a new and different article of commerce with a name, character, or use

L0: distinct from that of the article or articles from which it was transformed. The term refers to a product offered for purchase

L0: under a supply contract, but for purposes of calculating the value of the end product includes services (except

L0: transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the

L0: value of the product itself.

L0: ?Korean end product? means an article that?

L1: (1) Is wholly the growth, product, or manufacture of Korea; or

L1: (2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0: transformed in Korea (Republic of) into a new and different article of commerce with a name, character, or use distinct

L0: from that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a

L0: supply contract, but for purposes of calculating the value of the end product, includes services (except transportation

L0: services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0: product itself.

L0: ?Moroccan end product? means an article that?

L1: (1) Is wholly the growth, product, or manufacture of Morocco; or

L1: (2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0: transformed in Morocco into a new and different article of commerce with a name, character, or use distinct from that of

L0: the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply

L0: contract, but for purposes of calculating the value of the end product includes services (except transportation services)

L0: incidental to its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0: ?Panamanian end product? means an article that?

L1: (1) Is wholly the growth, product, or manufacture of Panama; or

L1: (2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0: transformed in Panama into a new and different article of commerce with a name, character, or use distinct from that of the

L0: article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0: but for purposes of calculating the value of the end product includes services (except transportation services)

incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Peruvian end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of Peru; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially

L0:transformed in Peru into a new and different article of commerce with a name, character, or use distinct from that of the

L0:article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract,

L0:but for purposes of calculating the value of the end product includes services (except transportation services)

incidental to

L0:its supply, provided that the value of those incidental services does not exceed the value of the product itself.

L0:?Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:?Qualifying country? means a country with a reciprocal defense procurement memorandum of understanding or

L0:international agreement with the United States in which both countries agree to remove barriers to purchases of supplies

L0:produced in the other country or services performed by sources of the other country, and the memorandum or agreement

L0:complies, where applicable, with the requirements of section 36 of the Arms Export Control Act (22 U.S.C. 2776) and with

L0:10 U.S.C. 2457. Accordingly, the following are qualifying countries:

L0:Australia

L0:Austria

L0:Belgium

L0:Canada

L0:Czech Republic

L0:Denmark

L0:Egypt

L0:Estonia

L0:Finland

L0:France

L0:Germany

L0:Greece

L0:Israel

L0:Italy

L0:Japan

L0:Latvia

L0:Lithuania

L0:Luxembourg

L0:Netherlands

L0:Norway

L0:Poland

L0:Portugal

L0:Slovenia

L0:Spain

L0:Sweden

L0:Switzerland

L0:Turkey

L0:United Kingdom of Great Britain and Northern Ireland.

L0:Qualifying country component? means a component mined, produced, or manufactured in a qualifying country.

L0:Qualifying country end product? means?

L1:(1) An unmanufactured end product mined or produced in a qualifying country; or

L1:(2) An end product manufactured in a qualifying country if?

L1:(i) The cost of the following types of components exceeds, for the entire period of performance for a contract awarded in:

L0:calendar year 2023, 60 percent of the cost of all its components; calendar years 2024 through 2028, 65 percent of the cost

L0:of all its components; or calendar year 2029 or later, 75 percent of the cost of all its components:

L1:(A) Components mined, produced, or manufactured in a qualifying country.

L1:(B) Components mined, produced, or manufactured in the United States.

L1:(C) Components of foreign origin of a class or kind for which the Government has determined that sufficient and

L0:reasonably available commercial quantities of a satisfactory quality are not mined, produced, or manufactured in the United

L0:States. Components of unknown origin are treated as foreign; or

L1:(ii) The end product is a COTS item.

L0:South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan,

L0:Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:South Caucasus/Central and South Asian (SC/CASA) state end product? means an article that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of an article that consists in whole or in part of materials from another country, has been substantially transformed in an SC/CASA state into a new and different article of commerce with a name, character, or use distinct from

L0:that of the article or articles from which it was transformed. The term refers to a product offered for purchase under a supply contract, but for purposes of calculating the value of the end product, includes services (except transportation services) incidental to its supply, provided that the value of those incidental services does not exceed the value of the

L0:product itself.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Unless otherwise specified, this clause applies to all items in the Schedule.

L1:(c) The Contractor shall deliver under this contract only domestic end products unless, in its offer, it specified delivery of

L0:qualifying country end products, SC/CASA state end products, Free Trade Agreement country end products other than

L0:Bahraini end products, Korean end products, Moroccan end products, Panamanian end products, or Peruvian end products,

L0:or other foreign end products in the Buy American?Free Trade Agreements?Balance of Payments Program Certificate?

L0:Alternate V provision of the solicitation. If the Contractor certified in its offer that it will deliver a qualifying country end product, SC/CASA state end products, or a Free Trade Agreement country end product other than a Bahraini end product, a

L0:Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product, the Contractor shall

L0:deliver a qualifying country end product, an SC/CASA state end product, a Free Trade Agreement country end product

L0:other than a Bahraini end product, a Korean end product, a Moroccan end product, a Panamanian end product, or a Peruvian end product or, at the Contractor's option, a domestic end product.

L1:(d) The contract price does not include duty for end products or components for which the Contractor will claim duty-free

L0:entry.

L0:(End of clause)

252.225-7039 Defense Contractors Performing Private Security Functions Outside the United States

Status: active

L0:252.225-7039 Defense Contractors Performing Private Security Functions Outside the United States.

L0:As prescribed in 225.302-6 , insert the following clause:

L0:DEFENSE CONTRACTORS PERFORMING PRIVATE SECURITY FUNCTIONS OUTSIDE THE UNITED STATES

L0:(JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?Full cooperation??

L1:(1) Means disclosure to the Government of the information sufficient to identify the nature and extent of the incident and

L0:the individuals responsible for the conduct. It includes providing timely and complete response to Government auditors'

L0:and investigators' requests for documents and access to employees with information;

L1:(2) Does not foreclose any contractor rights arising in law, the FAR or the terms of the contract. It does not require?

L1:(i) The contractor to waive its attorney-client privilege or the protections afforded by the attorney work product doctrine; or

L1:(ii) Any officer, director, owner, or employee of the contractor, including a sole proprietor, to waive his or her attorneyclient privilege or Fifth Amendment rights; and

L1:(3) Does not restrict the contractor from?

L1:(i) Conducting an internal investigation; or

L1:(ii) Defending a proceeding or dispute arising under the contract or related to a potential or disclosed violation.

L0:?Private security functions? means the following activities engaged in by a contractor:

L1:(1) Guarding of personnel, facilities, designated sites or property of a Federal agency, the contractor or subcontractor, or a

L0:third party.

L1:(2) Any other activity for which personnel are required to carry weapons in the performance of their duties in accordance

L0:with the terms of this contract.

L1:(b) Applicability. If this contract is performed both in a designated area and in an area that is not designated, the clause

L0:only applies to performance in the designated area. Designated areas are areas outside the United States of?

L1:(1) Contingency operations;

L1:(2) Combat operations, as designated by the Secretary of Defense;

L1:(3) Other significant military operations (as defined in 32 CFR part 159), designated by the Secretary of Defense upon

L0:agreement of the Secretary of State;

L1:(4) Peace operations, consistent with Joint Publication 3-07.3; or

L1:(5) Other military operations or military exercises, when designated by the Combatant Commander.

L1:(c) Requirements. The Contractor shall?

L1:(1) Ensure that all Contractor personnel who are responsible for performing private security functions under this contract

L0:comply with 32 CFR part 159 and any orders, directives, or instructions to contractors performing private security

L0:functions that are identified in the contract for?

L1:(i) Registering, processing, accounting for, managing, overseeing and keeping appropriate records of personnel performing

L0:private security functions;

L1:(ii) Authorizing, accounting for and registering in Synchronized Predeployment and Operational Tracker (SPOT), weapons

L0:to be carried by or available to be used by personnel performing private security functions;

L1:(iii) Identifying and registering in SPOT armored vehicles, helicopters and other military vehicles operated by Contractors

L0:performing private security functions; and

L1:(iv) In accordance with orders and instructions established by the applicable Combatant Commander, reporting incidents in

L0:which?

L1:(A) A weapon is discharged by personnel performing private security functions;

L1:(B) Personnel performing private security functions are attacked, killed, or injured;

L1:(C) Persons are killed or injured or property is destroyed as a result of conduct by Contractor personnel;

L1:(D) A weapon is discharged against personnel performing private security functions or personnel performing such

L0:functions believe a weapon was so discharged; or

L1:(E) Active, non-lethal countermeasures (other than the discharge of a weapon) are employed by personnel performing

L0:private security functions in response to a perceived immediate threat;

L1:(2) Ensure that Contractor personnel who are responsible for performing private security functions under this contract are

L0:briefed on and understand their obligation to comply with?

L1:(i) Qualification, training, screening (including, if applicable, thorough background checks) and security requirements

L0:established by 32 CFR part 159;

L1:(ii) Applicable laws and regulations of the United States and the host country and applicable treaties and international

L0:agreements regarding performance of private security functions;

L1:(iii) Orders, directives, and instructions issued by the applicable Combatant Commander or relevant Chief of Mission

L0:relating to weapons, equipment, force protection, security, health, safety, or relations and interaction with locals; and

L1:(iv) Rules on the use of force issued by the applicable Combatant Commander or relevant Chief of Mission for personnel

L0:performing private security functions;

L1:(3) Provide full cooperation with any Government-authorized investigation of incidents reported pursuant to paragraph (c)

L1:(1)(iv) of this clause and incidents of alleged misconduct by personnel performing private security functions under this

L0:contract by providing?

L1:(i) Access to employees performing private security functions; and

L1:(ii) Relevant information in the possession of the Contractor regarding the incident concerned; and

L1:(4) Comply with ANSI/ASIS PSC.1-2012, American National Standard, Management System for Quality of Private

L0:Security Company Operations?Requirements with Guidance or the International Standard ISO 18788, Management

L0:System for Private Security Operations?Requirements with Guidance (located at

L0:<http://www.acq.osd.mil/log/PS/psc.html>).

L1:(d) Remedies. In addition to other remedies available to the Government?

L1:(1) The Contracting Officer may direct the Contractor, at its own expense, to remove and replace any Contractor or

L0:subcontractor personnel performing private security functions who fail to comply with or violate applicable requirements

L0:of this clause or 32 CFR part 159. Such action may be taken at the Government's discretion without prejudice to its rights

L0:under any other provision of this contract;

L1:(2) The Contractor's failure to comply with the requirements of this clause will be included in appropriate databases of past

L0:performance and considered in any responsibility determination or evaluation of past performance; and

L1:(3) If this is an award-fee contract, the Contractor's failure to comply with the requirements of this clause shall be

L0:considered in the evaluation of the Contractor's performance during the relevant evaluation period, and the Contracting

L0:Officer may treat such failure to comply as a basis for reducing or denying award fees for such period or for recovering all

L0:or part of award fees previously paid for such period.

L1:(e) Rule of construction. The duty of the Contractor to comply with the requirements of this clause shall not be reduced or

L0:diminished by the failure of a higher- or lower-tier Contractor or subcontractor to comply with the clause requirements or

L0:by a failure of the contracting activity to provide required oversight.

L1:(f) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (f), in subcontracts,

L0:including subcontracts for commercial products or commercial services, when private security functions will be performed

L0:outside the United States in areas of?

L1:(1) Contingency operations;

L1:(2) Combat operations, as designated by the Secretary of Defense;

L1:(3) Other significant military operations (as defined in 32 CFR part 159), designated by the Secretary of Defense upon

L0:agreement of the Secretary of State;

L1:(4) Peace operations, consistent with Joint Publication 3-07.3; or

L1:(5) Other military operations or military exercises, when designated by the Combatant Commander.

L0:(End of clause)

252.225-7040 Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States

Status: active

L0:252.225-7040 Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States.

L0:As prescribed in 225.371-5 (a), use the following clause:

L0:CONTRACTOR PERSONNEL SUPPORTING U.S. ARMED FORCES DEPLOYED OUTSIDE THE UNITED STATES

L0:(OCT 2023)

L1:(a) Definitions. As used in this clause?

L0:“Combatant Commander” means the commander of a unified or specified combatant command established in accordance

L0:with 10 U.S.C. 161.

L0:“Contractors authorized to accompany the Force,” or “CAAF,” means contractor personnel, including all tiers of L0:subcontractor personnel, who are authorized to accompany U.S. Armed Forces in applicable operations and have been

L0:afforded CAAF status through a letter of authorization. CAAF generally include all U.S. citizen n and third-country

L0:national employees not normally residing within the operational area whose area of performance is in the direct vicinity of

L0:U.S. Armed Forces and who routinely are collocated with the U.S. Armed Forces (especially in non-permissive

L0:environments). Personnel collocated with U.S. Armed Forces shall be afforded CAAF status through a letter of

L0:authorization. In some cases, Combatant Commander subordinate commanders may designate mission-essential host nation

L0:or local national contractor employees (e.g., interpreters) as CAAF. CAAF includes contractors previously identified as

L0:contractors deploying with the U.S. Armed Forces. CAAF status does not apply to contractor personnel in support of

L0:applicable operations within the boundaries and territories of the United States.

L0:“Designated operational area” means a geographic area designated by the combatant commander or subordinate joint force

L0:commander for the conduct or support of specified military operations.

L0:“Designated reception site” means the designated place for the reception, staging, integration, and onward movement of

L0:contractors deploying during a contingency. The designated reception site includes assigned joint reception centers and

L0:other Service or private reception sites.

L0:Law of war? means that part of international law that regulates the conduct of armed hostilities. The law of war

L0:encompasses all international law for the conduct of hostilities binding on the United States or its individual citizens,

L0:including treaties and international agreements to which the United States is a party, and applicable customary international

L0:law.

L0:Non-CAAF? means personnel who are not designated as CAAF, such as local national (LN) employees and non-LN

L0:employees who are permanent residents in the operational area or third-country nationals not routinely residing with U.S.

L0:Armed Forces (and third-country national expatriates who are permanent residents in the operational area) who perform

L0:support functions away from the close proximity of, and do not reside with, U.S. Armed Forces. Government-furnished

L0:support to non-CAAF is typically limited to force protection, emergency medical care, and basic human needs (e.g., bottled

L0:water, latrine facilities, security, and food when necessary) when performing their jobs in the direct vicinity of U.S. Armed

L0:Forces. Non-CAAF status does not apply to contractor personnel in support of applicable operations within the boundaries

L0:and territories of the United States.

L0:Subordinate joint force commander? means a sub-unified commander or joint task force commander.

L1:(b) General.

L1:(1) This clause applies to both CAAF and non-CAAF when performing in a designated operational area outside the United

L0:States to support U.S. Armed Forces deployed outside the United States in?

L1:(i) Contingency operations;

L1:(ii) Peace operations, consistent with Joint Publication 3-07.3; or

L1:(iii) Other military operations or military exercises, when designated by the Combatant Commander or as directed by the

L0:Secretary of Defense.

L1:(2) Contract performance in support of U.S. Armed Forces deployed outside the United States may require work in

L0:dangerous or austere conditions. Except as otherwise provided in the contract, the Contractor accepts the risks associated

L0:with required contract performance in such operations.

L1:(3) When authorized in accordance with paragraph (j) of this clause to carry arms for personal protection, Contractor

L0:personnel are only authorized to use force for individual self-defense.

L1:(4) Unless immune from host nation jurisdiction by virtue of an international agreement or international law, inappropriate

L0:use of force by contractor personnel supporting the U.S. Armed Forces can subject such personnel to United States or host

L0:nation prosecution and civil liability (see paragraphs (d) and (j)(3) of this clause).

L1:(5) Service performed by Contractor personnel subject to this clause is not active duty or service under 38 U.S.C. 106 note.

L1:(c) Support.

L1:(1)(i) The Combatant Commander will develop a security plan for protection of Contractor personnel in locations where

L0:there is not sufficient or legitimate civil authority, when the Combatant Commander decides it is in the interests of the

L0:Government to provide security because?

L1:(A) The Contractor cannot obtain effective security services;

L1:(B) Effective security services are unavailable at a reasonable cost; or

L1:(C) Threat conditions necessitate security through military means.

L1:(ii) In appropriate cases, the Combatant Commander may provide security through military means, commensurate with the

L0:level of security provided DoD civilians.

L1:(2)(i) Generally, CAAF will be afforded emergency medical and dental care if injured while supporting applicable

L0:operations. Additionally, non-CAAF employees who are injured while in the vicinity of U. S. Armed Forces will normally

L0:receive emergency medical and dental care. Emergency medical and dental care includes medical care situations in which

L0:life, limb, or eyesight is jeopardized. Examples of emergency medical and dental care include examination and initial

L0:treatment of victims of sexual assault; refills of prescriptions for life-dependent drugs; repair of broken bones, lacerations,

L0:infections; and traumatic injuries to the dentition. Hospitalization will be limited to stabilization and short-term medical

L0:treatment with an emphasis on return to duty or placement in the patient movement system.

L1:(ii) When the Government provides medical treatment or transportation of Contractor personnel to a selected civilian

L0:facility, the Contractor shall ensure that the Government is reimbursed for any costs associated with such treatment or

L0:transportation.

L1:(iii) Medical or dental care beyond this standard is not authorized.

L1:(3) Contractor personnel must have a Synchronized Predeployment and Operational Tracker (SPOT)-generated letter of

L0:authorization signed by the Contracting Officer in order to process through a deployment center or to travel to, from, or

L0:within the designated operational area. The letter of authorization also will identify any additional authorizations,

L0:privileges, or Government support that Contractor personnel are entitled to under this contract. Contractor personnel who

L0:are issued a letter of authorization shall carry it with them at all times while deployed.

L1:(4) Unless specified elsewhere in this contract, the Contractor is responsible for all other support required for its personnel

L0:engaged in the designated operational area under this contract.

L1:(d) Compliance with laws and regulations.

L1:(1) The Contractor shall comply with, and shall ensure that its personnel supporting U.S. Armed Forces deployed outside

L0:the United States as specified in paragraph (b)(1) of this clause are familiar with and comply with, all applicable?

L1:(i) United States, host country, and third country national laws;

L1:(ii) Provisions of the law of war, as well as any other applicable treaties and international agreements;

L1:(iii) United States regulations, directives, instructions, policies, and procedures; and

L1:(iv) Orders, directives, and instructions issued by the Combatant Commander, including those relating to force

protection,

L0:security, health, safety, or relations and interaction with local nationals.

L1:(2) The Contractor shall institute and implement an effective program to prevent violations of the law of war by its

L0:employees and subcontractors, including law of war training in accordance with paragraph (e)(1)(vii) of this clause.

L1:(3) The Contractor shall ensure that CAAF and non-CAAF are aware?

L1:(i) Of the DoD definition of "sexual assault" in DoD Directive 6495.01, Sexual Assault Prevention and Response Program;

L1:(ii) That the offenses addressed by the definition are covered under the Uniform Code of Military Justice (see paragraph (e)

L1:(2)(iv) of this clause). Other sexual misconduct may constitute offenses under the Uniform Code of Military Justice,

L0:Federal law, such as the Military Extraterritorial Jurisdiction Act, or host nation laws; and

L1:(iii) That the offenses not covered by the Uniform Code of Military Justice may nevertheless have consequences to the

L0:contractor employees (see paragraph (h)(1) of this clause).

L1:(4) The Contractor shall report to the appropriate investigative authorities, identified in paragraph (d)(6) of this clause, any

L0:alleged offenses under?

L1:(i) The Uniform Code of Military Justice (chapter 47 of title 10, United States Code) (applicable to contractors serving with

L0:or accompanying an armed force in the field during a declared war or contingency operations); or

L1:(ii) The Military Extraterritorial Jurisdiction Act (chapter 212 of title 18, United States Code).

L1:(5) The Contractor shall provide to all contractor personnel who will perform work on a contract in the deployed area,

L0:before beginning such work, information on the following:

L1:(i) How and where to report an alleged crime described in paragraph (d)(4) of this clause.

L1:(ii) Where to seek victim and witness protection and assistance available to contractor personnel in connection with an

L0:alleged offense described in paragraph (d)(4) of this clause.

L1:(iii) That this section does not create any rights or privileges that are not authorized by law or DoD policy.

L1:(6) The appropriate investigative authorities to which suspected crimes shall be reported include the following?

L1:(i) US Army Criminal Investigation Command at <http://www.cid.army.mil/reportacrime.html>;

L1:(ii) Air Force Office of Special Investigations at <http://www.osi.andrews.af.mil/library/factsheets/factsheet.asp?id=14522>;

L1:(iii) Navy Criminal Investigative Service at <http://www.ncis.navy.mil/Pages/publicdefault.aspx>;

L1:(iv) Defense Criminal Investigative Service at <http://www.dodig.mil/HOTLINE/index.html>;

L1:(v) To any command of any supported military element or the command of any base.

L1:(7) Personnel seeking whistleblower protection from reprisals for reporting criminal acts shall seek guidance through the

L0:DoD Inspector General hotline at 800-424-9098 or www.dodig.mil/HOTLINE/index.html. Personnel seeking other forms

L0:of victim or witness protections should contact the nearest military law enforcement office.

L1:(8)(i) The Contractor shall ensure that Contractor employees supporting the U.S. Armed Forces are aware of their rights to

L0:?

L1:(A) Hold their own identity or immigration documents, such as passport or driver's license, regardless of the documents?

L0:issuing authority;

L1:(B) Receive agreed upon wages on time;

L1:(C) Take lunch and work-breaks;

L1:(D) Elect to terminate employment at any time;

L1:(E) Identify grievances without fear of reprisal;

L1:(F) Have a copy of their employment contract in a language they understand;

L1:(G) Receive wages that are not below the legal host-country minimum wage;

L1:(H) Be notified of their rights, wages, and prohibited activities prior to signing their employment contract; and

L1:(I) If housing is provided, live in housing that meets host-country housing and safety standards.

L1:(ii) The Contractor shall post these rights in employee work spaces in English and in any foreign language(s) spoken by a

L0:significant portion of the workforce.

L1:(iii) The Contractor shall enforce the rights of Contractor personnel supporting the U.S. Armed Forces.

L1:(e) Preliminary personnel requirements.

L1:(1) The Contractor shall ensure that the following requirements are met prior to deploying CAAF (specific requirements

L0:for each category will be specified in the statement of work or elsewhere in the contract):

L1:(i) All required security and background checks are complete and acceptable.

L1:(ii) All CAAF deploying in support of an applicable operation?

L1:(A) Are medically, dentally, and psychologically fit for deployment and performance of their contracted duties;

L1:(B) Meet the minimum medical screening requirements, including theater-specific medical qualifications as established by

L0:the geographic Combatant Commander (as posted to the Geographic Combatant Commander's website or other venue);

L0:and

L1:(C) Have received all required immunizations as specified in the contract.

L1:(1) During predeployment processing, the Government will provide, at no cost to the Contractor, any military-specific

L0:immunizations and/or medications not available to the general public.

L1:(2)All other immunizations shall be obtained prior to arrival at the deployment center.

L1:(3)All CAAF and selected non-CAAF, as specified in the statement of work, shall bring to the designated operational area a

L0:copy of the U.S. Centers for Disease Control and Prevention (CDC) Form 731, International Certificate of Vaccination or

L0:Prophylaxis as Approved by the World Health Organization, (also known as "shot record" or "Yellow Card") that shows

L0:vaccinations are current.

L1:(iii) Deploying personnel have all necessary passports, visas, and other documents required to enter and exit a designated

L0:operational area and have a Geneva Conventions identification card, or other appropriate DoD identity credential, from the

L0:deployment center.

L1:(iv) Special area, country, and theater clearance is obtained for all personnel deploying. Clearance requirements are in DoD

L0:Directive 4500.54E, DoD Foreign Clearance Program. For this purpose, CAAF are considered non-DoD contractor

L0:personnel traveling under DoD sponsorship.

L1:(v) All deploying personnel have received personal security training. At a minimum, the training shall?

L1:(A) Cover safety and security issues facing employees overseas;

L1:(B) Identify safety and security contingency planning activities; and

L1:(C) Identify ways to utilize safety and security personnel and other resources appropriately.

L1:(vi) All personnel have received isolated personnel training, if specified in the contract, in accordance with DoD

L0:Instruction 1300.23, Isolated Personnel Training for DoD Civilian and Contractors.

L1:(vii) Personnel have received law of war training as follows:

L1:(A) Basic training is required for all CAAF. The basic training will be provided through?

L1:(1) A military-run training center; or

L1:(2) A web-based source, if specified in the contract or approved by the Contracting Officer.

L1:(B) Advanced training, commensurate with their duties and responsibilities, may be required for some Contractor

L0:personnel as specified in the contract.

L1:(2) The Contractor shall notify all personnel who are not a host country national, or who are not ordinarily resident in the

L0:host country, that?

L1:(i) Such employees, and dependents residing with such employees, who engage in conduct outside the United States that

L0:would constitute an offense punishable by imprisonment for more than one year if the conduct had been engaged in within

L0:the special maritime and territorial jurisdiction of the United States, may potentially be subject to the criminal jurisdiction

L0:of the United States in accordance with the Military Extraterritorial Jurisdiction Act of 2000 (18 U.S.C. 3621, et seq.);

L1:(ii) Pursuant to the War Crimes Act (18 U.S.C. 2441), Federal criminal jurisdiction also extends to conduct that is

L0:determined to constitute a war crime when committed by a civilian national of the United States;

L1:(iii) Other laws may provide for prosecution of U.S. nationals who commit offenses on the premises of U.S. diplomatic,

L0:consular, military or other U.S. Government missions outside the United States (18 U.S.C. 7(9)); and

L1:(iv) In time of declared war or a contingency operation, CAAF are subject to the jurisdiction of the Uniform Code of

L0:Military Justice under 10 U.S.C. 802(a)(10).

L1:(v) Such employees are required to report offenses alleged to have been committed by or against Contractor personnel to

L0:appropriate investigative authorities.

L1:(vi) Such employees will be provided victim and witness protection and assistance.

L1:(f) Processing and departure points. CAAF shall?

L1:(1) Process through the deployment center designated in the contract, or as otherwise directed by the Contracting Officer,

L0:prior to deploying. The deployment center will conduct deployment processing to ensure visibility and accountability of

L0:Contractor personnel and to ensure that all deployment requirements are met, including the requirements specified in

L0:paragraph (e)(1) of this clause;

L1:(2) Use the point of departure and transportation mode directed by the Contracting Officer; and

L1:(3) Process through a designated reception site (DRS) upon arrival at the deployed location. The DRS will validate

L0:personnel accountability, ensure that specific designated operational area entrance requirements are met, and brief

L0:Contractor personnel on theater-specific policies and procedures.

L1:(g) Personnel data.

L1:(1) The Contractor shall use the Synchronized Predeployment and Operational Tracker (SPOT) web-based system, to enter

L0:and maintain the data for all CAAF and, as designated by the Under Secretary of Defense (Acquisition and Sustainment) or

L0:the Combatant Commander, non-CAAF supporting U.S. Armed Forces deployed outside the United States as specified in

L0:paragraph (b)(1) of this clause.

L1:(2) The Contractor shall enter the required information about their contractor personnel prior to deployment and shall

L0:continue to use the SPOT web-based system at <https://spot.dmdc.mil> to maintain accurate, up-to-date information

L0:throughout the deployment for all Contractor personnel. Changes to status of individual Contractor personnel relating to

L0:their in-theater arrival date and their duty location, to include closing out the deployment with their proper status (e.g.,

L0:mission complete, killed, wounded) shall be annotated within the SPOT database in accordance with the timelines

L0:established in the SPOT Business Rules at <https://www.acq.osd.mil/asds/log/cso/ocs/spot.html>.

L1:(h) Contractor personnel.

L1:(1) The Contracting Officer may direct the Contractor, at its own expense, to remove and replace any Contractor personnel

L0:who jeopardize or interfere with mission accomplishment or who fail to comply with or violate applicable requirements of

L0:this contract. Such action may be taken at the Government's discretion without prejudice to its rights under any other

L0:provision of this contract, including the Termination for Default clause.

L1:(2) The Contractor shall identify all personnel who occupy a position designated as mission essential and ensure the

L0:continuity of essential Contractor services during designated operations, unless, after consultation with the Contracting

L0:Officer, Contracting Officer's representative, or local commander, the Contracting Officer directs withdrawal due to

L0:security conditions.

L1:(3) The Contractor shall ensure that Contractor personnel follow the guidance at paragraph (e)(2)(v) of this clause and any

L0:specific Combatant Commander guidance on reporting offenses alleged to have been committed by or against Contractor

L0:personnel to appropriate investigative authorities.

L1:(4) Contractor personnel shall return all U.S. Government-issued identification, to include the Common Access Card, to

L0:appropriate U.S. Government authorities at the end of their deployment (or, for non-CAAF, at the end of their employment

L0:under this contract).

L1:(i) Military clothing and protective equipment.

L1:(1) Contractor personnel are prohibited from wearing military clothing unless specifically authorized in writing by the

L0:Combatant Commander. If authorized to wear military clothing, Contractor personnel must?

L1:(i) Wear distinctive patches, arm bands, nametags, or headgear, in order to be distinguishable from military personnel,

L0:consistent with force protection measures; and

L1:(ii) Carry the written authorization with them at all times.

L1:(2) Contractor personnel may wear military-unique organizational clothing and individual equipment (OCIE) required for

L0:safety and security, such as ballistic, nuclear, biological, or chemical protective equipment.

L1:(3) The deployment center, or the Combatant Commander, shall issue OCIE and shall provide training, if necessary, to

L0:ensure the safety and security of Contractor personnel.

L1:(4) The Contractor shall ensure that all issued OCIE is returned to the point of issue, unless otherwise directed by the

L0:Contracting Officer.

L1:(j) Weapons.

L1:(1) If the Contractor requests that its personnel performing in the designated operational area be authorized to carry

L0:weapons for individual self-defense, the request shall be made through the Contracting Officer to the Combatant

L0:Commander, in accordance with DoD Instruction 3020.41, Operational Contractor Support. The Combatant Commander

L0:will determine whether to authorize in-theater Contractor personnel to carry weapons and what weapons and ammunition

L0:will be allowed.

L1:(2) If Contractor personnel are authorized to carry weapons in accordance with paragraph (j)(1) of this clause, the

L0:Contracting Officer will notify the Contractor what weapons and ammunition are authorized.

L1:(3) The Contractor shall ensure that its personnel who are authorized to carry weapons?

L1:(i) Are adequately trained to carry and use them?

L1:(A) Safely;

L1:(B) With full understanding of, and adherence to, the rules of the use of force issued by the Combatant Commander; and

L1:(C) In compliance with applicable agency policies, agreements, rules, regulations, and other applicable law;

L1:(ii) Are not barred from possession of a firearm by 18 U.S.C. 922;

L1:(iii) Adhere to all guidance and orders issued by the Combatant Commander regarding possession, use, safety, and

L0:accountability of weapons and ammunition;

L1:(iv) Comply with applicable Combatant Commander and local commander force-protection policies; and

L1:(v) Understand that the inappropriate use of force could subject them to U.S. or host-nation prosecution and civil liability.

L1:(4) Whether or not weapons are Government-furnished, all liability for the use of any weapon by Contractor personnel

L0:rests solely with the Contractor and the Contractor employee using such weapon.

L1:(5) Upon redeployment or revocation by the Combatant Commander of the Contractor's authorization to issue firearms, the

L0:Contractor shall ensure that all Government-issued weapons and unexpended ammunition are returned as directed by the

L0:Contracting Officer.

L1:(k) Vehicle or equipment licenses. Contractor personnel shall possess the required licenses to operate all vehicles or

L0:equipment necessary to perform the contract in the designated operational area.

L1:(l) Purchase of scarce goods and services. If the Combatant Commander has established an organization for the designated

L0:operational area whose function is to determine that certain items are scarce goods or services, the Contractor shall

L0:coordinate with that organization local purchases of goods and services designated as scarce, in accordance with L0:instructions provided by the Contracting Officer.

L1:(m) Evacuation.

L1:(1) If the Combatant Commander orders a mandatory evacuation of some or all personnel, the Government will provide

L0:assistance, to the extent available, to United States and third country national Contractor personnel.

L1:(2) In the event of a non-mandatory evacuation order, unless authorized in writing by the Contracting Officer, the L0:Contractor shall maintain personnel on location sufficient to meet obligations under this contract.

L1:(n) Next of kin notification and personnel recovery.

L1:(1) The Contractor shall be responsible for notification of the employee-designated next of kin in the event an employee

L0:dies, requires evacuation due to an injury, or is isolated, missing, detained, captured, or abducted.

L1:(2) In the case of isolated, missing, detained, captured, or abducted Contractor personnel, the Government will assist in

L0:personnel recovery actions in accordance with DoD Directive 3002.01E, Personnel Recovery in the Department of L0:Defense.

L1:(o) Mortuary affairs. Contractor personnel who die while in support of the U.S. Armed Forces shall be covered by the DoD

L0:mortuary affairs program as described in DoD Directive 1300.22, Mortuary Affairs Policy, and DoD Instruction 3020.41,

L0:Operational Contractor Support.

L1:(p) Changes. In addition to the changes otherwise authorized by the Changes clause of this contract, the Contracting

L0:Officer may, at any time, by written order identified as a change order, make changes in the place of performance or L0:Government-furnished facilities, equipment, material, services, or site. Any change order issued in accordance with this

L0:paragraph (p) shall be subject to the provisions of the Changes clause of this contract.

L1:(q) Subcontracts. The Contractor shall incorporate the substance of this clause, including this paragraph (q), in all L0:subcontracts when subcontractor personnel are supporting U.S. Armed Forces deployed outside the United States in?

L1:(1) Contingency operations;

L1:(2) Peace operations consistent with Joint Publication 3-07.3; or

L1:(3) Other military operations or military exercises, when designated by the Combatant Commander or as directed by the

L0:Secretary of Defense.

L0:(End of clause)

252.225-7041 Correspondence in English

Status: active

L0:252.225-7041 Correspondence in English.

L0:As prescribed in 225.1103 (2), use the following clause:

L0:CORRESPONDENCE IN ENGLISH (JUN 1997)

L0:The Contractor shall ensure that all contract correspondence that is addressed to the United States Government is

submitted

L0:in English or with an English translation.

L0:(End of clause)

252.225-7042 Authorization to Perform

Status: active

L0:252.225-7042 Authorization to Perform.

L0:As prescribed in 225.1103 (3), use the following provision:

L0:AUTHORIZATION TO PERFORM (APR 2003)

L0:The offeror represents that it has been duly authorized to operate and to do business in the country or countries in which the

L0:contract is to be performed.

L0:(End of provision)

252.225-7043 Antiterrorism/Force Protection for Defense Contractors Outside the United States

Status: active

L0:252.225-7043 Antiterrorism/Force Protection for Defense Contractors Outside the United States.

L0:As prescribed in 225.372-2 , use the following clause:

L0:ANTITERRORISM/FORCE PROTECTION POLICY FOR DEFENSE CONTRACTORS OUTSIDE THE UNITED

L0:STATES (JUN 2015)

L1:(a) Definition. "United States," as used in this clause, means, the 50 States, the District of Columbia, and outlying areas.

L1:(b) Except as provided in paragraph (c) of this clause, the Contractor and its subcontractors, if performing or traveling

L0:outside the United States under this contract, shall?

L1:(1) Affiliate with the Overseas Security Advisory Council, if the Contractor or subcontractor is a U.S. entity;

L1:(2) Ensure that Contractor and subcontractor personnel who are U.S. nationals and are in-country on a non-transitory basis,

L0:register with the U.S. Embassy, and that Contractor and subcontractor personnel who are third country nationals comply

L0:with any security related requirements of the Embassy of their nationality;

L1:(3) Provide, to Contractor and subcontractor personnel, antiterrorism/force protection awareness information

L0:commensurate with that which the Department of Defense (DoD) provides to its military and civilian personnel and their

L0:families, to the extent such information can be made available prior to travel outside the United States; and

L1:(4) Obtain and comply with the most current antiterrorism/force protection guidance for Contractor and subcontractor

L0:personnel.

L1:(c) The requirements of this clause do not apply to any subcontractor that is?

L1:(1) A foreign government;

L1:(2) A representative of a foreign government; or

L1:(3) A foreign corporation wholly owned by a foreign government.

L1:(d) Information and guidance pertaining to DoD antiterrorism/force protection can be obtained from (Contracting Officer

L0:to insert applicable information cited in PGI 225.372-1).

L0:(End of clause)

252.225-7044 Balance of Payments Program?Construction Material

Status: active

L0:252.225-7044 Balance of Payments Program?Construction Material.

L0:Basic. As prescribed in 225.7503 (a) and (a)(1), use the following clause:

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL?BASIC (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?Component? means any article, material, or supply incorporated directly into construction material.

L0:?Construction material? means an article, material, or supply brought to the construction site by the Contractor or a L0:subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled

L0:from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and

L0:audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as

L0:complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual

L0:parts or components of those systems are delivered to the construction site. Materials purchased directly by the L0:Government are supplies, not construction material.

L0:?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of L0:incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty L0:(whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including

L0:transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0: "Critical component" means a component that is mined, produced, or manufactured in the United States and deemed

L0: critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0: "Critical item" means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0: chain. The list of critical items is at FAR 25.105.

L0: "Domestic construction material" means?

L1: (1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1: (i) An unmanufactured construction material mined or produced in the United States; or

L1: (ii) A construction material manufactured in the United States, if?

L1: (A) The cost of its components mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all

L0: its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and

L0: 75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in

L0: accordance with FAR 25.201(c). Components of foreign origin of the same class or kind for which nonavailability

L0: determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or

L1: (B) The construction material is a COTS item; or

L1: (2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction

L0: material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding L0: fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used

L0: in such construction material (produced in the United States means that all manufacturing processes of the iron or steel

L0: must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of

L0: iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as

L0: bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of

L0: the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States,

L0: excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material

L0: contains multiple components, the cost of all the materials used in such construction material is calculated in accordance

L0: with the definition of "cost of components" in this clause.

L0: "Predominantly of iron or steel or a combination of both" means that the cost of the iron and steel content exceeds 50

L0: percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0: as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Domestic preference. This clause implements the Balance of Payments Program by providing a preference for domestic

L0:construction material. The Contractor shall use only domestic construction material in performing this contract, except for

L0:?

L1:(1) Construction material valued at or below the simplified acquisition threshold in part 2 of the Federal Acquisition

L0:Regulation;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0:

L0:[Contracting Officer to list applicable excepted materials or indicate ?none?]

L0:(End of clause)

L0:Alternate I. As prescribed in 225.7503 (a) and (a)(2), use the following clause, which adds definitions for ?South

L0:Caucasus/Central and South Asian (SC/CASA) state? and ?SC/CASA state construction material? to paragraph (a), and

L0:uses ?domestic construction material or SC/CASA state construction material? instead of ?domestic construction material?

L0:in the second sentence of paragraph (b):

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL?ALTERNATE I (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in

L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:Component? means any article, material, or supply incorporated directly into construction material.

L0:Construction material? means an article, material, or supply brought to the construction site by the Contractor or a

L0:subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled

L0:from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and

L0:audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as

L0:complete systems, are evaluated as a single and distinct construction material regardless of when or how the

individual

L0:parts or components of those systems are delivered to the construction site. Materials purchased directly by the L0:Government are supplies, not construction material.

L0:?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of L0:incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty L0:(whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including

L0:transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:?Critical component? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:?Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all

L0:its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and

L0:75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in

L0:accordance with FAR 25.201(c) . Components of foreign origin of the same class or kind for which nonavailability

L0:determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction

L0:material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding

L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used

L0:in such construction material (produced in the United States means that all manufacturing processes of the iron or steel

L0:must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of

L0:iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as

L0:bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of

L0:the construction material and a good faith estimate of the cost of all iron or steel components not produced in the

United

L0:States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction

L0:material contains multiple components, the cost of all the materials used in such construction material is calculated in

L0:accordance with the definition of "cost of components" in this clause.

L0:"Predominantly of iron or steel or a combination of both" means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:"South Caucasus/Central and South Asian (SC/CASA) state" means Armenia, Azerbaijan, Georgia, Kazakhstan,

L0:Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:"SC/CASA state construction material" means construction material that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in an SC/CASA state into a new and different construction material distinct from the material

L0:from which it was transformed.

L0:"Steel" means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:"United States" means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Domestic preference. This clause implements the Balance of Payments Program by providing a preference for domestic

L0:construction material. The Contractor shall use only domestic construction material or SC/CASA state construction

L0:material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in part 2 of the Federal Acquisition

L0:Regulation;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0: _____

L0:[Contracting Officer to list applicable excepted materials or indicate "none?"].

L0:(End of clause)

L0:Alternate II. As prescribed in 225.7503(a) and (a)(3), use the following clause, which includes, in the definition of

L0:"domestic construction material" at paragraph (1)(ii)(A), the domestic content threshold that will apply to the entire

L0:contract period of performance:

L0: BALANCE OF PAYMENTS PROGRAM? CONSTRUCTION MATERIAL? ALTERNATE II (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:"Commercially available off-the-shelf (COTS) item"?

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of "commercial product" in section 2.101 of

the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in

L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?"Component?" means any article, material, or supply incorporated directly into construction material.

L0:?"Construction material?" means an article, material, or supply brought to the construction site by the Contractor or a L0:subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled

L0:from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and

L0:audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as

L0:complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual

L0:parts or components of those systems are delivered to the construction site. Materials purchased directly by the

L0:Government are supplies, not construction material.

L0:?"Cost of components?" means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of

L0:incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty

L0:(whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including

L0:transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:?"Critical component?" means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?"Critical item?" means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:?"Domestic construction material?" means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds, for the entire period of

L0:performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years

L0:2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all

L0:its components. Components of foreign origin of the same class or kind for which nonavailability determinations

have been

L0:made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction

L0:material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used

L0:in such construction material (produced in the United States means that all manufacturing processes of the iron or steel

L0:must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of

L0:iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as

L0:bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of

L0:the end product and a good faith estimate of the cost of all iron or steel components not produced in the United States,

L0:excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction material

L0:contains multiple components, the cost of all the materials used in such construction material is calculated in accordance

L0:with the definition of "cost of components" in this clause.

L0:"Predominantly of iron or steel or a combination of both" means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:"Steel" means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:"United States" means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Domestic preference. This clause implements the Balance of Payments Program by providing a preference for domestic

L0:construction material. The Contractor shall use only domestic construction material in performing this contract, except for

L0:?

L1:(1) Construction material valued at or below the simplified acquisition threshold in FAR part 2;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0:[Contracting Officer to list applicable excepted materials or indicate "none?"].

L0:(End of clause)

L0:Alternate III. As prescribed in 225.7503(a) and (a)(4), use the following clause, which includes, in the definition of

L0:domestic construction material? at paragraph (1)(ii)(A), the domestic content threshold that will apply to the entire period

L0:of performance; adds definitions for ?South Caucasus/Central and South Asian (SC/CASA) state? and ?SC/CASA state

L0:construction material? to paragraph (a); and uses ?domestic construction material or SC/CASA state construction material?

L0:instead of ?domestic construction material? in the second sentence of paragraph (b):

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL?ALTERNATE III (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in

L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:Component? means any article, material, or supply incorporated directly into construction material.

L0:Construction material? means an article, material, or supply brought to the construction site by the Contractor or a L0:subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled

L0:from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and

L0:audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as

L0:complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual

L0:parts or components of those systems are delivered to the construction site. Materials purchased directly by the

L0:Government are supplies, not construction material.

L0:Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of L0:incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty

L0:(whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including

L0:transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:Critical component? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds, for the entire period of

L0:performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years

L0:2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all

L0:its components. Components of foreign origin of the same class or kind for which nonavailability determinations have been

L0:made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction

L0:material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used

L0:in such construction material (produced in the United States means that all manufacturing processes of the iron or steel

L0:must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of

L0:iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as

L0:bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of

L0:the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United

L0:States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction

L0:material contains multiple components, the cost of all the materials used in such construction material is calculated in

L0:accordance with the definition of ?cost of components? in this clause.

L0:Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:South Caucasus/Central and South Asian (SC/CASA) state? means Armenia, Azerbaijan, Georgia, Kazakhstan,

L0:Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:SC/CASA state construction material? means construction material that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in an SC/CASA state into a new and different construction material distinct from the material

L0:from which it was transformed.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L1:(b) Domestic preference. This clause implements the Balance of Payments Program by providing a preference for domestic

L0:construction material. The Contractor shall use only domestic construction material or SC/CASA state construction

L0:material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in FAR part 2;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0:[Contracting Officer to list applicable excepted materials or indicate ?none?].

L0:(End of clause)

252.225-7045 Balance of Payments Program?Construction Material Under Trade Agreements

Status: active

L0:252.225-7045 Balance of Payments Program?Construction Material Under Trade Agreements.

L0:Basic. As prescribed in 225.7503 (b) and (b)(1), use the following clause:

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER TRADE AGREEMENTS?BASIC

L0:(FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:Caribbean Basin country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the

L0:materials from which it was transformed.

L0:Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in

L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural

L0:products and petroleum products.

L0:Component? means any article, material, or supply incorporated directly into construction material.

L0:Construction material? means an article, material, or supply brought to the construction site by the Contractor or a L0:subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled

L0:from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and

L0:audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as

L0:complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual

L0:parts or components of those systems are delivered to the construction site. Materials purchased directly by the

L0:Government are supplies, not construction material.

L0:Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of L0:incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty

L0:(whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including

L0:transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:Critical component? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia,

L0:Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania,

L0:Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal,

L0:Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade

L0:Organization as the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or

L0:the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador,

L0:Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, L0:Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea,

Ethiopia,

L0:Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania,

L0:Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia,

L0:South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands,

L0:Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the

L0:Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0: ?Designated country construction material? means a construction material that is a WTO GPA country construction

L0:material, a Free Trade Agreement country construction material, a least developed country construction material, or a

L0:Caribbean Basin country construction material.

L0: ?Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all

L0:its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and

L0:75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in

L0:accordance with FAR 25.201(c). Components of foreign origin of the same class or kind for which nonavailability

L0:determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction

L0:material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding

L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used

L0:in such construction material (produced in the United States means that all manufacturing processes of the iron or steel

L0:must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of

L0:iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as

L0:bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of

L0:the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United

L0:States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction

L0:material contains multiple components, the cost of all the materials used in such construction material is calculated

in

L0:accordance with the definition of "cost of components" in this clause.

L0:"Free Trade Agreement country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from

L0:the material from which it was transformed.

L0:"Least developed country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a least developed country into a new and different construction material distinct from the

L0:materials from which it was transformed.

L0:"Predominantly of iron or steel or a combination of both" means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:"Steel" means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:"United States" means the 50 States, the District of Columbia, and outlying areas.

L0:"WTO GPA country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials

L0:from which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction

L0:material. In addition, the Contracting Officer has determined that the WTO GPA and Free Trade Agreements apply to this

L0:acquisition. Therefore, the Balance of Payments Program restrictions are waived for designated country construction L0:materials.

L1:(c) The Contractor shall use only domestic or designated country construction material in performing this contract, except

L0:for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in part 2 of the Federal Acquisition

L0:Regulation;

L1:(2) Information technology that is a commercial item; or

L1:(3) The construction material or components listed by the Government as follows:

L0: _____

L0:[Contracting Officer to list applicable excepted materials or indicate "none?"].

L0:(End of clause)

L0:Alternate I. As prescribed in 225.7503(b) and (b)(2), use the following clause, which adds Bahraini or Mexican L0:construction material to paragraph (a), and uses a different paragraph (b) and (c) than the basic clause:

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDERTRADE AGREEMENTS?

L0:ALTERNATE I (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:Bahraini or Mexican construction material means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain or Mexico; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in Bahrain or Mexico into a new and different construction material distinct from the materials

L0:from which it was transformed.

L0:?Caribbean Basin country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the

L0:materials from which it was transformed.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural

L0:products and petroleum products.

L0:?Component? means any article, material, or supply incorporated directly into construction material.

L0:?Construction material? means an article, material, or supply brought to the construction site by the Contractor or a L0:subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled

L0:from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and

L0:audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as

L0:complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual

L0:parts or components of those systems are delivered to the construction site. Materials purchased directly by the

L0:Government are supplies, not construction material.

L0:?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of

L0:incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty

L0:(whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including

L0:transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:Critical component? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia,

L0:Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania,

L0:Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal,

L0:Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade

L0:Organization as the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or

L0:the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador,

L0:Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, L0:Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia,

L0:Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania,

L0:Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia,

L0:South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands,

L0:Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the

L0:Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:Designated country construction material? means a construction material that is a WTO GPA country construction

L0:material, a Free Trade Agreement country construction material, a least developed country construction material, or a

L0:Caribbean Basin country construction material.

L0:Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all

L0:its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and

L0:75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in

L0:accordance with FAR 25.201(c). Components of foreign origin of the same class or kind for which nonavailability

L0:determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction

L0:material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding

L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used

L0:in such construction material (produced in the United States means that all manufacturing processes of the iron or steel

L0:must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of

L0:iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as

L0:bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of

L0:the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United

L0:States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction

L0:material contains multiple components, the cost of all the materials used in such construction material is calculated in

L0:accordance with the definition of "cost of components" in this clause.

L0:"Free Trade Agreement country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from

L0:the material from which it was transformed.

L0:"Least developed country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in a least developed country into a new and different construction material distinct from the L0:materials from which it was transformed.

L0:"Predominantly of iron or steel or a combination of both" means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L0:WTO GPA country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials

L0:from which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction

L0:material. In addition, the Contracting Officer has determined that the WTO GPA and all Free Trade Agreements except

L0:United States-Mexico-Canada Agreement and the Bahrain Free Trade Agreement apply to this acquisition. Therefore, the

L0:Balance of Payments Program restrictions are waived for designated country construction material other than Bahraini or

L0:Mexican construction material.

L1:(c) The Contractor shall use only domestic or designated country construction material other than Bahraini or Mexican

L0:construction material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in part 2 of the Federal Acquisition

L0:Regulation; or

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0: _____

L0:[Contracting Officer to list applicable excepted materials or indicate ?none?].

L0:(End of clause)

L0:Alternate II. As prescribed in 225.7503 (b) and (b)(3), use the following clause, which adds ?South Caucasus/Central and

L0:South Asian (SC/CASA) state? and ?SC/CASA state construction material? to paragraph (a), uses a different paragraph (b)

L0:and introductory text for paragraph (c) than the basic clause, and adds paragraph (d):

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER TRADE AGREEMENTS?

L0:ALTERNATE II (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:Caribbean Basin country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the

L0:materials from which it was transformed.

L0:Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of "commercial product" in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural

L0:products and petroleum products.

L0:"Component" means any article, material, or supply incorporated directly into construction material.

L0:"Construction material" means an article, material, or supply brought to the construction site by the Contractor or a L0:subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled

L0:from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and

L0:audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as

L0:complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual

L0:parts or components of those systems are delivered to the construction site. Materials purchased directly by the

L0:Government are supplies, not construction material.

L0:"Cost of components" means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of L0:incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty

L0:(whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including

L0:transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:"Critical component" means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:"Critical item" means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:"Designated country" means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia,

L0:Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein,

Lithuania,

L0:Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal,

L0:Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade

L0:Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)),

Ukraine, or

L0:the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador,

L0:Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia,

L0:Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia,

L0:Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania,

L0:Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia,

L0:South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands,

L0:Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the

L0:Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0: ?Designated country construction material? means a construction material that is a WTO GPA country construction

L0:material, a Free Trade Agreement country construction material, a least developed country construction material, or a

L0:Caribbean Basin country construction material.

L0: ?Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all

L0:its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and

L0:75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in

L0:accordance with FAR 25.201(c). Components of foreign origin of the same class or kind for which nonavailability

L0:determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction

L0:material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding

L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used

L0:in such construction material (produced in the United States means that all manufacturing processes of the iron or steel

L0:must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of

L0:iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as

L0:bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of

L0:the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United

L0:States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction

L0:material contains multiple components, the cost of all the materials used in such construction material is calculated in

L0:accordance with the definition of "cost of components" in this clause.

L0:"Free Trade Agreement country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from

L0:the material from which it was transformed.

L0:"Least developed country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in a least developed country into a new and different construction material distinct from the L0:materials from which it was transformed.

L0:"Predominantly of iron or steel or a combination of both" means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:"South Caucasus/Central and South Asian (SC/CASA) state" means Armenia, Azerbaijan, Georgia, Kazakhstan,

L0:Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:"SC/CASA state construction material" means construction material that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in an SC/CASA state into a new and different construction material distinct from the material

L0:from which it was transformed.

L0:"Steel" means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:"United States" means the 50 States, the District of Columbia, and outlying areas.

L0:"WTO GPA country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials

L0:from which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction

L0:material. In addition, the Contracting Officer has determined that the WTO GPA, Free Trade Agreements, and other L0:waivers relating to acquisitions in support of operations in Afghanistan apply to this acquisition. Therefore, the Balance of

L0:Payments Program restrictions are waived for SC/CASA state and designated country construction materials.

L1:(c) The Contractor shall use only domestic, SC/CASA state, or designated country construction material in performing this

L0:contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in part 2 of the Federal Acquisition L0:Regulation;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0: _____

L0:[Contracting Officer to list applicable excepted materials or indicate "none?].

L1:(d) If the Contractor is from an SC/CASA state, the Contractor shall inform its government of its participation in this L0:acquisition and that it generally will not have such opportunity in the future unless its government provides reciprocal L0:procurement opportunities to U.S. products and services and suppliers of such products and services.

L0:(End of clause)

L0:Alternate III. As prescribed in 225.7503 (b) and (b)(4), use the following clause, which adds "South Caucasus/Central and

L0:South Asian (SC/CASA) state" and "SC/CASA state construction material" to paragraph (a), uses a different paragraph (b)

L0:and introductory text for paragraph (c) than the basic clause, and adds paragraph (d):

L0: BALANCE OF PAYMENTS PROGRAM? CONSTRUCTION MATERIAL UNDERTRADE AGREEMENTS?

L0: ALTERNATE III (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:"Caribbean Basin country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the

L0:materials from which it was transformed.

L0:"Commercially available off-the-shelf (COTS) item"?

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of "commercial product" in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural

L0:products and petroleum products.

L0:?'Component?' means any article, material, or supply incorporated directly into construction material.

L0:?'Construction material?' means an article, material, or supply brought to the construction site by the Contractor or a L0:subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled

L0:from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and

L0:audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as

L0:complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual

L0:parts or components of those systems are delivered to the construction site. Materials purchased directly by the

L0:Government are supplies, not construction material.

L0:?'Cost of components?' means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of

L0:incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty

L0:(whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including

L0:transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:?'Critical component?' means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:?'Critical item?' means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:?'Designated country?' means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia,

L0:Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania,

L0:Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal,

L0:Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade

L0:Organization as 'the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu' (Chinese Taipei)), Ukraine, or

L0:the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador,

L0:Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, L0:Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia, L0:Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania, L0:Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia, L0:South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands, L0:Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the L0:Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:Designated country construction material? means a construction material that is a WTO GPA country construction L0:material, a Free Trade Agreement country construction material, a least developed country construction material, or a L0:Caribbean Basin country construction material.

L0:Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds 60 percent of the cost of all L0:its components, except that the percentage will be 65 percent for items delivered in calendar years 2024 through 2028 and L0:75 percent for items delivered starting in calendar year 2029, unless an alternate percentage is established for a contract in L0:accordance with FAR 25.201(c) . Components of foreign origin of the same class or kind for which nonavailability L0:determinations have been made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction L0:material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used L0:in such construction material (produced in the United States means that all manufacturing processes of the iron or steel L0:must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of L0:iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as L0:bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of L0:the construction material and a good faith estimate of the cost of iron or steel components not produced in the United L0:States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the

construction

L0:material contains multiple components, the cost of all the materials used in such construction material is calculated in

L0:accordance with the definition of "cost of components" in this clause.

L0:"Free Trade Agreement country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from

L0:the material from which it was transformed.

L0:"Least developed country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a least developed country into a new and different construction material distinct from the

L0:materials from which it was transformed.

L0:"Predominantly of iron or steel or a combination of both" means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:"South Caucasus/Central and South Asian (SC/CASA) state" means Armenia, Azerbaijan, Georgia, Kazakhstan,

L0:Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:"SC/CASA state construction material" means construction material that?

L1:(1) Is wholly the growth, product, or manufacture of An SC/CASA state; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in an SC/CASA state into a new and different construction material distinct from the material

L0:from which it was transformed.

L0:"Steel" means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:"United States" means the 50 States, the District of Columbia, and outlying areas.

L0:"WTO GPA country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials

L0:from which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction

L0:material. In addition, the Contracting Officer has determined that the WTO GPA, all Free Trade Agreements except United

L0:States-Mexico-Canada Agreement and the Bahrain Free Trade Agreement, and other waivers relating to acquisitions in

L0:support of operations in Afghanistan apply to this acquisition. Therefore, the Balance of Payments Program restrictions are

L0:waived for SC/CASA state and designated country construction material other than Bahraini or Mexican construction material.

L1:(c) The Contractor shall use only domestic, SC/CASA state, or designated country construction material other than Bahraini or Mexican construction material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0: _____

L0:[Contracting Officer to list applicable excepted materials or indicate ?none?].

L1:(d) If the Contractor is from an SC/CASA state, the Contractor shall inform its government of its participation in this acquisition and that it generally will not have such opportunity in the future unless its government provides reciprocal procurement opportunities to U.S. products and services and suppliers of such products and services.

L0:(End of clause)

L0:Alternate IV. As prescribed in 225.7503(b) and (b)(5), use the following clause, which includes, in the definition of ?domestic construction material? at paragraph (1)(ii)(A), the domestic content threshold that will apply to the entire contract period of performance:

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER TRADE AGREEMENTS?

L0:ALTERNATE IV (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:?Caribbean Basin country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the

L0:materials from which it was transformed.

L0:?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural

L0:products and petroleum products.

L0:?Component? means any article, material, or supply incorporated directly into construction material.

L0:?Construction material? means an article, material, or supply brought to the construction site by the Contractor or a subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled

L0:from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire

alarm, and

L0:audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as

L0:complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual

L0:parts or components of those systems are delivered to the construction site. Materials purchased directly by the

L0:Government are supplies, not construction material.

L0:Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of

L0:incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty

L0:(whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including

L0:transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:Critical component? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia,

L0:Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania,

L0:Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal,

L0:Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade

L0:Organization as the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or

L0:the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador,

L0:Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia,

L0:Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia,

L0:Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania,

L0:Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia,

L0:South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin

Islands,

L0:Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the

L0:Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0: ?Designated country construction material? means a construction material that is a WTO GPA country construction

L0:material, a Free Trade Agreement country construction material, a least developed country construction material, or a

L0:Caribbean Basin country construction material.

L0: ?Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds, for the entire period of

L0:performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years

L0:2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all

L0:its components. Components of foreign origin of the same class or kind for which nonavailability determinations have been

L0:made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction

L0:material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used

L0:in such construction material (produced in the United States means that all manufacturing processes of the iron or steel

L0:must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of

L0:iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as

L0:bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of

L0:the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United

L0:States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction

L0:material contains multiple components, the cost of all the materials used in such construction material is calculated in

L0:accordance with the definition of ?cost of components? in this clause.

L0: ?Free Trade Agreement country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from

L0:the material from which it was transformed.

L0:Least developed country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country has been

L0:substantially transformed in a least developed country into a new and different construction material distinct from the
L0:materials from which it was transformed.

L0:Predominantly of iron or steel or a combination of both? means that the cost of the iron and steel content exceeds
50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products
(such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good
faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include
other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L0:WTO GPA country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been
L0:substantially transformed in a WTO GPA country into a new and different construction material distinct from the
materials

L0:from which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction
L0:material. In addition, the Contracting Officer has determined that the WTO GPA and Free Trade Agreements apply
to this

L0:acquisition. Therefore, the Balance of Payments Program restrictions are waived for designated country construction
L0:materials.

L1:(c) The Contractor shall use only domestic or designated country construction material in performing this contract,
except

L0:for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in FAR part 2;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0:[Contracting Officer to list applicable excepted materials or indicate ?none?].

L0:(End of clause)

L0:Alternate V. As prescribed in 225.7503(b) and (b)(6), use the following clause, which includes, in the definition of
L0:domestic construction material? at paragraph (1)(ii)(A), the domestic content threshold that will apply to the entire
L0:contract period of performance; adds ?Bahraini or Mexican construction material? to paragraph (a); and uses
different

L0:paragraphs (b) and (c) than the basic clause:

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER TRADE AGREEMENTS?

L0:ALTERNATE V (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0: ?Bahraini or Mexican construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of Bahrain or Mexico; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in Bahrain or Mexico into a new and different construction material distinct from the materials

L0:from which it was transformed.

L0: ?Caribbean Basin country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the

L0:materials from which it was transformed.

L0: ?Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural

L0:products and petroleum products.

L0: ?Component? means any article, material, or supply incorporated directly into construction material.

L0: ?Construction material? means an article, material, or supply brought to the construction site by the Contractor or a L0:subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled

L0:from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and

L0:audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as

L0:complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual

L0:parts or components of those systems are delivered to the construction site. Materials purchased directly by the

L0:Government are supplies, not construction material.

L0: ?Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of L0:incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty L0:(whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including

L0:transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:Critical component? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia,

L0:Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania,

L0:Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal,

L0:Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade

L0:Organization as the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu (Chinese Taipei)), Ukraine, or

L0:the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador,

L0:Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia,

L0:Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia,

L0:Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania,

L0:Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia,

L0:South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands,

L0:Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the

L0:Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:Designated country construction material? means a construction material that is a WTO GPA country construction

L0:material, a Free Trade Agreement country construction material, a least developed country construction material, or a

L0:Caribbean Basin country construction material.

L0:Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds, for the entire period of

L0:performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar

years

L0:2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all

L0:its components. Components of foreign origin of the same class or kind for which nonavailability determinations have been

L0:made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction

L0:material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used

L0:in such construction material (produced in the United States means that all manufacturing processes of the iron or steel

L0:must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of

L0:iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as

L0:bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of

L0:the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United

L0:States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction

L0:material contains multiple components, the cost of all the materials used in such construction material is calculated in

L0:accordance with the definition of "cost of components" in this clause.

L0:"Free Trade Agreement country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from

L0:the material from which it was transformed.

L0:"Least developed country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country has been L0:substantially transformed in a least developed country into a new and different construction material distinct from the L0:materials from which it was transformed.

L0:"Predominantly of iron or steel or a combination of both" means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:Steel? means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:United States? means the 50 States, the District of Columbia, and outlying areas.

L0:WTO GPA country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials

L0:from which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction

L0:material. In addition, the Contracting Officer has determined that the WTO GPA and all Free Trade Agreements except

L0:United States-Mexico-Canada Agreement and the Bahrain Free Trade Agreement apply to this acquisition. Therefore, the

L0:Balance of Payments Program restrictions are waived for designated country construction material other than Bahraini or

L0:Mexican construction material.

L1:(c) The Contractor shall use only domestic or designated country construction material other than Bahraini or Mexican

L0:construction material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in FAR part 2; or

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0:[Contracting Officer to list applicable excepted materials or indicate ?none?] .

L0:(End of clause)

L0:Alternate VI. As prescribed in 225.7503(b) and (b)(7), use the following clause, which includes, in the definition of

L0:domestic construction material? at paragraph (1)(ii)(A), the domestic content threshold that will apply to the entire L0:contract period of performance; adds ?South Caucasus/Central and South Asian (SC/CASA) state? and ?SC/CASA state

L0:construction material? to paragraph (a); uses a different paragraph (b) and introductory text for paragraph (c) than the basic

L0:clause; and adds paragraph (d):

L0:BALANCE OF PAYMENTS PROGRAM?CONSTRUCTION MATERIAL UNDER TRADE AGREEMENTS?

L0:ALTERNATE VI (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:Caribbean Basin country construction material? means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the

L0:materials from which it was transformed.

L0:Commercially available off-the-shelf (COTS) item??

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of "commercial product" in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in

L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural

L0:products and petroleum products.

L0:"Component" means any article, material, or supply incorporated directly into construction material.

L0:"Construction material" means an article, material, or supply brought to the construction site by the Contractor or a

L0:subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled

L0:from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and

L0:audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as

L0:complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual

L0:parts or components of those systems are delivered to the construction site. Materials purchased directly by the

L0:Government are supplies, not construction material.

L0:"Cost of components" means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of

L0:incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty

L0:(whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including

L0:transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:"Critical component" means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:"Critical item" means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:"Designated country" means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia,

L0:Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania,

L0:Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal,

L0:Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade

L0:Organization as ?the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)),
Ukraine, or

L0:the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador,

L0:Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia, L0:Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea, Ethiopia,

L0:Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania,

L0:Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia,

L0:South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands,

L0:Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the

L0:Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0: ?Designated country construction material? means a construction material that is a WTO GPA country construction

L0:material, a Free Trade Agreement country construction material, a least developed country construction material, or a

L0:Caribbean Basin country construction material.

L0: ?Domestic construction material? means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds, for the entire period of

L0:performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years

L0:2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all

L0:its components. Components of foreign origin of the same class or kind for which nonavailability determinations have been

L0:made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction

L0:material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used

L0:in such construction material (produced in the United States means that all manufacturing processes of the iron or steel

L0:must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of

L0:iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as

L0:bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of

L0:the construction material and a good faith estimate of the cost of all iron or steel components not produced in the United

L0:States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction

L0:material contains multiple components, the cost of all the materials used in such construction material is calculated in

L0:accordance with the definition of "cost of components" in this clause.

L0:"Free Trade Agreement country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from

L0:the material from which it was transformed.

L0:"Least developed country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a least developed country into a new and different construction material distinct from the

L0:materials from which it was transformed.

L0:"Predominantly of iron or steel or a combination of both" means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:"South Caucasus/Central and South Asian (SC/CASA) state" means Armenia, Azerbaijan, Georgia, Kazakhstan,

L0:Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:"SC/CASA state construction material" means construction material that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in an SC/CASA state into a new and different construction material distinct from the material

L0:from which it was transformed.

L0:"Steel" means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:"United States" means the 50 States, the District of Columbia, and outlying areas.

L0:"WTO GPA country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a WTO GPA country into a new and different construction material distinct from the

materials

L0:from which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction

L0:material. In addition, the Contracting Officer has determined that the WTO GPA, Free Trade Agreements, and other L0:waivers relating to acquisitions in support of operations in Afghanistan apply to this acquisition. Therefore, the Balance of

L0:Payments Program restrictions are waived for SC/CASA state and designated country construction materials.

L1:(c) The Contractor shall use only domestic, SC/CASA state, or designated country construction material in performing this

L0:contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in FAR part 2;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0:[Contracting Officer to list applicable excepted materials or indicate "none?"].

L1:(d) If the Contractor is from an SC/CASA state, the Contractor shall inform its government of its participation in this

L0:acquisition and that it generally will not have such opportunity in the future unless its government provides reciprocal L0:procurement opportunities to U.S. products and services and suppliers of such products and services.

L0:(End of clause)

L0:Alternate VII. As prescribed in 225.7503(b) and (b)(8), use the following clause, which includes, in the definition of

L0:"domestic construction material" at paragraph (1)(ii)(A), the domestic content threshold that will apply to the entire

L0:contract period of performance; adds "South Caucasus/Central and South Asian (SC/CASA state)" and "SC/CASA state

L0:construction material" to paragraph (a); uses a different paragraph (b) and introductory text for paragraph (c) than the basic

L0:clause; and adds paragraph (d):

L0: BALANCE OF PAYMENTS PROGRAM? CONSTRUCTION MATERIAL UNDER TRADE AGREEMENTS?

L0: ALTERNATE VII (FEB 2024)

L1:(a) Definitions. As used in this clause?

L0:"Caribbean Basin country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Caribbean Basin country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been

L0:substantially transformed in a Caribbean Basin country into a new and different construction material distinct from the

L0:materials from which it was transformed.

L0:"Commercially available off-the-shelf (COTS) item"?

L1:(1) Means any item of supply (including construction material) that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of "commercial product" in section 2.101 of the

L0:Federal Acquisition Regulation (FAR));

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under a contract or subcontract at any tier, without modification, in the same form in

L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in section 3 of the Shipping Act of 1984 (46 U.S.C. 40102), such as agricultural

L0:products and petroleum products.

L0:Component? means any article, material, or supply incorporated directly into construction material.

L0:Construction material? means an article, material, or supply brought to the construction site by the Contractor or a L0:subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled

L0:from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and

L0:audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as

L0:complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual

L0:parts or components of those systems are delivered to the construction site. Materials purchased directly by the

L0:Government are supplies, not construction material.

L0:Cost of components? means?

L1:(1) For components purchased by the Contractor, the acquisition cost, including transportation costs to the place of L0:incorporation into the end product (whether or not such costs are paid to a domestic firm), and any applicable duty

L0:(whether or not a duty-free entry certificate is issued); or

L1:(2) For components manufactured by the Contractor, all costs associated with the manufacture of the component, including

L0:transportation costs as described in paragraph (1) of this definition, plus allocable overhead costs, but excluding profit.

L0:Cost of components does not include any costs associated with the manufacture of the construction material.

L0:Critical component? means a component that is mined, produced, or manufactured in the United States and deemed

L0:critical to the U.S. supply chain. The list of critical components is at FAR 25.105.

L0:Critical item? means domestic construction material or a domestic end product that is deemed critical to the U.S. supply

L0:chain. The list of critical items is at FAR 25.105.

L0:Designated country? means?

L1:(1) A World Trade Organization Government Procurement Agreement (WTO GPA) country (Armenia, Aruba, Australia,

L0:Austria, Belgium, Bulgaria, Canada, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany,

L0:Greece, Hong Kong, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea (Republic of), Latvia, Liechtenstein, Lithuania,

L0:Luxembourg, Malta, Moldova, Montenegro, Netherlands, New Zealand, North Macedonia, Norway, Poland, Portugal,

L0:Romania, Singapore, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Taiwan (known in the World Trade

L0:Organization as the Separate Customs Territory of Taiwan, Penghu, Kinmen, and Matsu? (Chinese Taipei)), Ukraine, or

L0:the United Kingdom);

L1:(2) A Free Trade Agreement country (Australia, Bahrain, Chile, Colombia, Costa Rica, Dominican Republic, El Salvador,

L0:Guatemala, Honduras, Korea (Republic of), Mexico, Morocco, Nicaragua, Panama, Peru, or Singapore);

L1:(3) A least developed country (Afghanistan, Angola, Bangladesh, Benin, Bhutan, Burkina Faso, Burundi, Cambodia,

L0:Central African Republic, Chad, Comoros, Democratic Republic of Congo, Djibouti, Equatorial Guinea, Eritrea,

Ethiopia,

L0:Gambia, Guinea, Guinea-Bissau, Haiti, Kiribati, Laos, Lesotho, Liberia, Madagascar, Malawi, Mali, Mauritania,

L0:Mozambique, Nepal, Niger, Rwanda, Samoa, Sao Tome and Principe, Senegal, Sierra Leone, Solomon Islands, Somalia,

L0:South Sudan, Tanzania, Timor-Leste, Togo, Tuvalu, Uganda, Vanuatu, Yemen, or Zambia); or

L1:(4) A Caribbean Basin country (Antigua and Barbuda, Aruba, Bahamas, Barbados, Belize, Bonaire, British Virgin Islands,

L0:Curacao, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saba, St. Kitts and Nevis, St. Lucia, St. Vincent and the

L0:Grenadines, Sint Eustatius, Sint Maarten, or Trinidad and Tobago).

L0:?"Designated country construction material?" means a construction material that is a WTO GPA country construction

L0:material, a Free Trade Agreement country construction material, a least developed country construction material, or a

L0:Caribbean Basin country construction material.

L0:?"Domestic construction material?" means?

L1:(1) For construction material that does not consist wholly or predominantly of iron or steel or a combination of both?

L1:(i) An unmanufactured construction material mined or produced in the United States; or

L1:(ii) A construction material manufactured in the United States, if?

L1:(A) The cost of its components mined, produced, or manufactured in the United States exceeds, for the entire period of

L0:performance for a contract awarded in: calendar year 2023, 60 percent of the cost of all its components; calendar years

L0:2024 through 2028, 65 percent of the cost of all its components; or calendar year 2029 or later, 75 percent of the cost of all

L0:its components. Components of foreign origin of the same class or kind for which nonavailability determinations have been

L0:made are treated as domestic. Components of unknown origin are treated as foreign; or

L1:(B) The construction material is a COTS item; or

L1:(2) For construction material that consists wholly or predominantly of iron or steel or a combination of both, a construction

L0:material manufactured in the United States if the cost of iron and steel not produced in the United States (excluding L0:fasteners) as estimated in good faith by the contractor, constitutes less than 5 percent of the cost of all the components used

L0:in such construction material (produced in the United States means that all manufacturing processes of the iron or steel

L0:must take place in the United States, except metallurgical processes involving refinement of steel additives). The cost of

L0:iron and steel not produced in the United States includes but is not limited to the cost of iron or steel mill products (such as

L0:bar, billet, slab, wire, plate, or sheet), castings, or forgings, not produced in the United States, utilized in the manufacture of

L0:the construction material and a good faith estimate of the cost of iron or steel components not produced in the United

L0:States, excluding COTS fasteners. Iron or steel components of unknown origin are treated as foreign. If the construction

L0:material contains multiple components, the cost of all the materials used in such construction material is calculated in

L0:accordance with the definition of "cost of components" in this clause.

L0:"Free Trade Agreement country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a Free Trade Agreement country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in a Free Trade Agreement country into a new and different construction material distinct from

L0:the material from which it was transformed.

L0:"Least developed country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a least developed country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in a least developed country into a new and different construction material distinct from the L0:materials from which it was transformed.

L0:"Predominantly of iron or steel or a combination of both" means that the cost of the iron and steel content exceeds 50

L0:percent of the total cost of all its components. The cost of iron and steel is the cost of the iron or steel mill products (such

L0:as bar, billet, slab, wire, plate, or sheet), castings, or forgings utilized in the manufacture of the product and a good faith

L0:estimate of the cost of iron or steel components excluding COTS fasteners.

L0:"South Caucasus/Central and South Asian (SC/CASA) state" means Armenia, Azerbaijan, Georgia, Kazakhstan,

L0:Kyrgyzstan, Pakistan, Tajikistan, Turkmenistan, or Uzbekistan.

L0:"SC/CASA state construction material" means construction material that?

L1:(1) Is wholly the growth, product, or manufacture of an SC/CASA state; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in an SC/CASA state into a new and different construction material distinct from the material

L0:from which it was transformed.

L0:"Steel" means an alloy that includes at least 50 percent iron, between 0.02 and 2 percent carbon, and may include other

L0:elements.

L0:"United States" means the 50 States, the District of Columbia, and outlying areas.

L0:"WTO GPA country construction material" means a construction material that?

L1:(1) Is wholly the growth, product, or manufacture of a WTO GPA country; or

L1:(2) In the case of a construction material that consists in whole or in part of materials from another country, has been L0:substantially transformed in a WTO GPA country into a new and different construction material distinct from the materials

L0:from which it was transformed.

L1:(b) This clause implements the Balance of Payments Program by providing a preference for domestic construction

L0:material. In addition, the Contracting Officer has determined that the WTO GPA, all Free Trade Agreements except United

L0:States-Mexico-Canada Agreement and the Bahrain Free Trade Agreement, and other waivers relating to acquisitions in

L0:support of operations in Afghanistan apply to this acquisition. Therefore, the Balance of Payments Program

restrictions are

L0:waived for SC/CASA state and designated country construction material other than Bahraini or Mexican construction material.

L1:(c) The Contractor shall use only domestic, SC/CASA state, or designated country construction material other than Bahraini or Mexican construction material in performing this contract, except for?

L1:(1) Construction material valued at or below the simplified acquisition threshold in FAR part 2;

L1:(2) Information technology that is a commercial product; or

L1:(3) The construction material or components listed by the Government as follows:

L0:[Contracting Officer to list applicable excepted materials or indicate "none"] .

L1:(d) If the Contractor is from an SC/CASA state, the Contractor shall inform its government of its participation in this acquisition and that it generally will not have such opportunity in the future unless its government provides reciprocal procurement opportunities to U.S. products and services and suppliers of such products and services.

L0:procurement opportunities to U.S. products and services and suppliers of such products and services.

L0:(End of clause)

252.225-7046 Exports by Approved Community Members in Response to the Solicitation

Status: active

L0:252.225-7046 Exports by Approved Community Members in Response to the Solicitation.

L0:As prescribed in 252.7902-5 (a), use the following provision:

L0:EXPORTS BY APPROVED COMMUNITY MEMBERS IN RESPONSE TO THE SOLICITATION (JUNE 2013)

L1:(a) Definitions. The definitions of "Approved Community", "defense articles", Defense Trade Cooperation (DTC) Treaty,

L0:"export", "Implementing Arrangement", "qualifying defense articles", "transfer", and "U.S. DoD Treaty-eligible

L0:requirements" in DFARS clause 252.225-7047 apply to this provision.

L1:(b) All contract line items in the contemplated contract, except any identified in this paragraph, are intended to satisfy U.S.

L0:DoD Treaty-eligible requirements. Specific defense articles that are not U.S. DoD Treaty-eligible will be identified as such

L0:in those contract line items that are otherwise U.S. DoD Treaty-eligible.

L0:CONTRACT LINE ITEMS NOT INTENDED TO SATISFY

L0:U.S. DoD TREATY-ELIGIBLE REQUIREMENTS:

L0:_____

L0:[Enter Contract Line Item Number(s) or enter "None"]

L1:(c) Approved Community members responding to the solicitation may only export or transfer defense articles that

L0:specifically respond to the stated requirements of the solicitation.

L1:(d) Subject to the other terms and conditions of the solicitation and the contemplated contract that affect the acceptability of

L0:foreign sources or foreign end products, components, parts, or materials, Approved Community members are permitted,

L0:but not required, to use the DTC Treaties for exports or transfers of qualifying defense articles in preparing a response to

L0:this solicitation.

L1:(e) Any conduct by an offeror responding to this solicitation that falls outside the scope of the DTC Treaties, the

L0:Implementing Arrangements, and the implementing regulations of the Department of State in 22 CFR 126.16

(Australia),

L0:22 C.F.R. 126.17 (United Kingdom), and 22 C.F.R. 126 Supplement No. 1 (exempted technologies list) is subject to all

L0:applicable International Traffic in Arms Regulations (ITAR) requirements, including any criminal, civil, and administrative

L0:penalties or sanctions, as well as all other United States statutory and regulatory requirements outside of ITAR.

L1:(f) If the offeror uses the procedures established pursuant to the DTC Treaties, the offeror agrees that, with regard to the

L0:export or transfer of a qualifying defense article associated with responding to the solicitation, the offeror shall?

L1:(1) Comply with the requirements and provisions of the applicable DTC Treaties, the Implementing Arrangements, and

L0:corresponding regulations (including the ITAR) of the U.S. Government and the government of Australia or of the United

L0:Kingdom, as applicable;

L1:(2) Prior to the export or transfer of a qualifying defense article?

L1:(i) Mark, identify, transmit, store, and handle any defense articles provided for the purpose of responding to such

L0:solicitations, as well as any defense articles provided with or developed pursuant to their responses to such solicitations, in

L0:accordance with the DTC Treaties, the Implementing Arrangements, and corresponding regulations of the United States

L0:Government and the government of Australia or the government of the United Kingdom, as applicable, including, but not

L0:limited to, the marking and classification requirements described in the applicable regulations;

L1:(ii) Comply with the re-transfer or re-export provisions of the DTC Treaties, the Implementing Arrangements, and

L0:corresponding regulations of the United States Government and the government of Australia or the government of the

L0:United Kingdom, as applicable, including, but not limited to, the re-transfer and re-export requirements described in the

L0:applicable regulations; and

L1:(iii) Acknowledge that any conduct that falls outside or in violation of the DTC Treaties, Implementing Arrangements, and

L0:implementing regulations of the applicable government including, but not limited to, unauthorized re-transfer or re-export

L0:in violation of the procedures established in the applicable Implementing Arrangement and implementing regulations,

L0:remains subject to applicable licensing requirements of the government of Australia, the government of the United

L0:Kingdom, and the United States Government, as applicable, including any criminal, civil, and administrative penalties or

L0:sanctions contained therein; and

L1:(g) Representation. The offeror shall check one of the following boxes and sign the representation:

L0:? The offeror represents that export(s) or transfer(s) of qualifying defense articles were made in preparing its response to

L0:this solicitation and that such export(s) or transfer(s) complied with the requirements of this provision.

L0: _____

L0:Name/Title of Duly Authorized Representative Date

L0:? The offeror represents that no export(s) or transfer(s) of qualifying defense articles were made in preparing its response

L0:to this solicitation.

L0:_____

L0:Name/Title of Duly Authorized Representative Date

L1:(h) Subcontracts. Flow down the substance of this provision, including this paragraph (h), but excluding the representation

L0:at paragraph (g), to any subcontractor at any tier intending to use the DTC Treaties in responding to this solicitation.

L0:(End of provision)

252.225-7047 Exports by Approved Community Members in Performance of the Contract

Status: active

L0:252.225-7047 Exports by Approved Community Members in Performance of the Contract.

L0:As prescribed in 225.7902-5 (b), use the following clause:

L0:EXPORTS BY APPROVED COMMUNITY MEMBERS IN PERFORMANCE OF THE CONTRACT (JUNE 2013)

L1:(a) Definitions. As used in this clause?

L0:"Approved Community" means the U.S. Government, U.S. entities that are registered and eligible exporters, and certain

L0:government and industry facilities in Australia or the United Kingdom that are approved and listed by the U.S.

L0:Government.

L0:?Australia Community member? means an Australian government authority or nongovernmental entity or facility on the

L0:Australia Community list accessible at <http://pmddtc.state.gov/treaties/index.html> .

L0:"Defense articles" means articles, services, and related technical data, including software, in tangible or intangible form,

L0:listed on the United States Munitions List of the International Traffic in Arms Regulations (ITAR), as modified or

L0:amended.

L0:?Defense Trade Cooperation (DTC) Treaty" means?

L1:(1) The Treaty Between the Government of the United States of America and the government of the United Kingdom of

L0:Great Britain and Northern Ireland concerning Defense Trade Cooperation, signed at Washington and London on June 21

L0:and 26, 2007; or

L1:(2) The Treaty Between the Government of the United States of America and the Government of Australia Concerning

L0:Defense Trade Cooperation, signed at Sydney on September 5, 2007.

L0:"Export" means the initial movement of defense articles from the United States Community to the United Kingdom

L0:Community and the Australia community.

L0:"Implementing Arrangement" means -

L1:(1) The Implementing Arrangement Pursuant to the Treaty between the Government of the United States of America and

L0:the Government of the United Kingdom of Great Britain and Northern Ireland Concerning Defense Trade Cooperation,

L0:signed on February 14, 2008; or

L1:(2) The Implementing Arrangement Pursuant to the Treaty between the Government of the United States of America and

L0:the Government of Australia Concerning Defense Trade Cooperation, signed on March 14, 2008.

L0:Qualifying defense articles? means defense articles that are not exempt from the scope of the DTC Treaties as defined in

L0:22 CFR 126.16(g) and 22 CFR 126.17(g).

L0:"Transfer" means the movement of previously exported defense articles within the Approved Community.

L0:United Kingdom Community member? means a United Kingdom government authority or nongovernmental entity or

L0:facility on the United Kingdom Community list accessible at <http://pmddtc.state.gov>.

L0:"United States Community" means?

L1:(1) Departments and agencies of the U.S. Government, including their personnel, with, as appropriate, security

L0:accreditation and a need-to-know; and

L1:(2) Nongovernmental U.S. entities registered with the Department of State and eligible to export defense articles under

L0:U.S. law and regulation, including their employees, with, as appropriate, security accreditation and a need-to-know.

L0:"U.S. DoD Treaty-eligible requirements" means any defense article acquired by the DoD for use in a combined military or

L0:counterterrorism operation, cooperative research, development, production or support program, or DoD end use, as described in Article 3 of the U.S.-U.K. DTC Treaty and sections 2 and 3 of the associated Implementing Arrangement; and

L0:Article 3 of the U.S.-Australia DTC Treaty and sections 2 and 3 of the associated Implementing Arrangement.

L1:(b) All contract line items in this contract, except any identified in this paragraph, are intended to satisfy U.S. DoD Treaty-eligible requirements. Specific defense articles that are not U.S. DoD Treaty-eligible will be identified as such in those

L0:contract line items that are otherwise U.S. DoD Treaty-eligible.

L0:CONTRACT LINE ITEMS NOT INTENDED TO SATISFY

L0:U.S. DoD TREATY-ELIGIBLE REQUIREMENTS:

L0:_____

L0:[Enter Contract Line Item Number(s) or enter "None"]

L1:(c) Subject to the other terms and conditions of this contract that affect the acceptability of foreign sources or foreign end

L0:products, components, parts, or materials, Approved Community members are permitted, but not required, to use the DTC

L0:Treaties for exports or transfers of qualifying defense articles in performance of the contract.

L1:(d) Any conduct by the Contractor that falls outside the scope of the DTC Treaties, the Implementing Arrangements, and

L0:22 CFR 126.16(g) and 22 CFR 126.17(g) is subject to all applicable ITAR requirements, including any criminal, civil, and

L0:administrative penalties or sanctions, as well as all other United States statutory and regulatory requirements outside of

L0:ITAR, including, but not limited to, regulations issued by the Bureau of Alcohol, Tobacco, Firearms and Explosives found

L0:at 27 C.F.R. Parts 447, 478, and 479, which are unaffected by the DTC Treaties.

L1:(e) If the Contractor is an Approved Community member, the Contractor agrees that?

L1:(1) The Contractor shall comply with the requirements of the DTC Treaties, the Implementing Arrangements, the ITAR,

L0:and corresponding regulations of the U.S. Government and the government of Australia or the government of the United

L0:Kingdom, as applicable; and

L1:(2) Prior to the export or transfer of a qualifying defense article the Contractor?

L1:(i) Shall mark, identify, transmit, store, and handle any defense articles provided for the purpose of responding to such

L0:solicitations, as well as any defense articles provided with or developed pursuant to their responses to such solicitations, in

L0:accordance with the DTC Treaties, the Implementing Arrangements, and corresponding regulations of the United States

L0:Government and the government of Australia or the government of the United Kingdom, as applicable, including, but not

L0:limited to, the marking and classification requirements described in the applicable regulations;

L1:(ii) Shall comply with the re-transfer or re-export provisions of the DTC Treaties, the Implementing Arrangements, and

L0:corresponding regulations of the United States Government and the government of Australia or the government of the

L0:United Kingdom, as applicable, including, but not limited to, the re-transfer and re-export requirements described in the

L0:applicable regulations; and

L1:(iii) Shall acknowledge that any conduct that falls outside or in violation of the DTC Treaties, Implementing Arrangements,

L0:and implementing regulations of the applicable government including, but not limited to, unauthorized re-transfer or reexport in violation of the procedures established in the applicable Implementing Arrangement and implementing

L0:regulations, remains subject to applicable licensing requirements of the government of Australia, the government of the

L0:United Kingdom, and the United States Government, including any criminal, civil, and administrative penalties or

L0:sanctions contained therein.

L1:(f) The contractor shall include the substance of this clause, including this paragraph (f), in all subcontracts that may

L0:require exports or transfers of qualifying defense articles in connection with deliveries under the contract.

L0:(End of clause)

252.225-7048 Export-Controlled Items., Export-Controlled Items, clause of this contract

Status: active

L0:252.225-7048 Export-Controlled Items., Export-Controlled Items, clause of this contract.

L0:?Ineligible transferee? means an individual, an entity, or a country?

L1:(1) Excluded from Federal programs by the General Services Administration as identified in the System for Award

L0:Management Exclusions located at <https://sam.gov>;

L1:(2) Delinquent on obligations to the U.S. Government under surplus sales contracts;

L1:(3) Designated by the Department of Defense as ineligible, debarred, or suspended from defense contracts; or
L1:(4) Subject to denial, debarment, or other sanctions under export control laws and related laws and regulations, and orders

L0:administered by the Department of State, the Department of Commerce, the Department of Homeland Security, or the

L0:Department of the Treasury.

L0:Item unique identification? means a system of assigning, reporting, and marking DoD property with unique item

L0:identifiers that have machine-readable data elements to distinguish an item from all other like and unlike items.

L0:National stock number? means a 13-digit stock number used to identify items of supply. It consists of a four-digit Federal

L0:Supply Code and a nine-digit National Item Identification Number.

L0:Reparable item? means an item, typically in unserviceable condition, furnished to the contractor for maintenance, repair,

L0:modification, or overhaul.

L0:Scrap? means property that has no value except for its basic material content. For purposes of demilitarization, scrap is

L0:defined as recyclable waste and discarded materials derived from items that have been rendered useless beyond repair,

L0:rehabilitation, or restoration such that the item's original identity, utility, form, fit, and function have been destroyed. Items

L0:can be classified as scrap if processed by cutting, tearing, crushing, mangling, shredding, or melting. Intact or recognizable

L0:components and parts are not scrap.

L0:Serially-managed item? means an item designated by DoD to be uniquely tracked, controlled, or managed in maintenance,

L0:repair, and/or supply systems by means of its serial number or unique item identifier.

L0:Serviceable or usable property? means property with potential for reutilization or sale as is or with minor repairs or

L0:alterations. Supply condition code? means a classification of materiel in terms of readiness for issue and use or to identify

L0:action underway to change the status of materiel. Unique item identifier (UII)? means a set of data elements marked on an

L0:item that is globally unique and unambiguous. The term includes a concatenated UII or a DoD recognized unique

L0:identification equivalent.

L1:(b) Reporting Government property.

L1:(1) The Contractor shall use the Government Furnished Property (GFP) module of the Procurement Integrated Enterprise

L0:Environment (PIEE) to?

L1:(i) Report receipt of GFP; (ii) Report the transfer of GFP to another DoD contract;

L1:(iii) Report the shipment of GFP to the Government or to a contractor. The GFP module generates the electronic equivalent

L0:of the DD Form 1149, DD Form 1348-1, or other required shipping documents;

L1:(iv) Report when serially-managed items of GFP are incorporated into a higher-level component, assembly, or end item;

L1:(v) Report the loss of Government property in accordance with paragraph (f)(1)(vii) of the FAR 52.245-1 clause of this

L0:contract;

L1:(vi) Complete the plant clearance inventory schedule in accordance with paragraph (j)(2) of the FAR 52.245-1 clause of

L0:this contract, unless disposition instructions are otherwise included in this contract. The GFP module generates the

L0:electronic equivalent of the Standard Form (SF) 1428, Inventory Disposal Schedule; and (vii) Submit a request to buy back

L0:or to convert to GFP items of Contractor-acquired property.

L1:(2) Information regarding the GFP module is available in the GFP Module Vendor Guide at

L0:<https://dodprocurementtoolbox.com/site-pages/gfp-resources>. Users may also register for access to the GFP module and

L0:obtain training on the PIEE home page at <https://piee.eb.mil>.

L1:(3) In complying with paragraphs (b)(1)(i) through (iv) of this clause, the Contractor shall report the updated status of the

L0:property to the GFP module within 7 business days of the date the change in status occurs, unless otherwise specified in the

L0:contract.

L1:(4) The Contractor shall use Wide Area WorkFlow in accordance with DFARS Appendix F, Material Inspection and

L0:Receiving Report, to report the shipment of reparable items after completion of repair, maintenance, modification, or

L0:overhaul.

L1:(5) When Government property is in the possession of subcontractors, the Contractor shall ensure that reporting is

L0:accomplished using the data elements required in paragraph (c) of this clause.

L1:(c) Records of Government property. To facilitate reporting of Government property to the GFP module, the Contractor?s

L0:property records, in addition to the requirements of paragraph (f)(1)(iii) of the FAR 52.245-1 clause of this contract, shall

L0:enable recording of the following data elements:

L1:(1) National stock number (NSN). If an NSN is not available, use either the combination of the manufacturer?s CAGE code

L0:and part number, or model number.

L1:(2) CAGE code on the accountable Government contract.

L1:(3) Received/sent (shipped) date.

L1:(4) Accountable Government contract number.

L1:(5) Serial number (for serially-managed items that do not have a UII); and

L1:(6) Supply condition code (only required for reporting of reparable items). For information on Federal supply condition

L0:codes, see DLM 4000.25, Defense Logistics Management Standards (DLMS), Volume 2, Supply Standards and

L0:Procedures, Appendix 2.5 at <https://www.dla.mil/HQ/InformationOperations/DLMS/elibrary/manuals/v2/>.

L1:(d) Marking, reporting, and UII registration of GFP requirements. The Contractor?

L1:(1) Shall assign the UII and mark the reparable items identified as serially managed in the GFP attachment to this contract

L0:with an item unique identification (IUID) data matrix, when the technical drawing for the item is accessible to the

L0:Contractor and includes IUID data matrix location and marking method;

L1:(2) Shall report the UII either before or during shipment of the repaired item;

L1:(3) Is not required to mark items that were previously marked with an IUID data matrix and registered in accordance with

L0:DFARS 252.211-7003 Item Unique Identification and Valuation., Item Unique Identification and Valuation; and
L1:(4) Shall assign a new UII, then mark and register the item, when the conditions of paragraph (d)(1) are met, if an item is

L0:found to be marked but not registered in the IUID Registry.

L1:(e) Disposing of Government property.

L1:(1) The Contractor shall complete the plant clearance inventory schedule using the plant clearance capability of the GFP

L0:module of the PIEE to generate an electronic equivalent of the SF 1428, Inventory Disposal Schedule. The plant clearance

L0:inventory schedule requires the following:

L1:(i) If known, the applicable Federal supply code (FSC) for all items, except items in scrap condition.

L1:(ii) If known, the manufacturer name for all aircraft components under Federal supply group 16 or 17 and FSCs 2620,

L0:2810, 2915, 2925, 2935, 2945, 2995, 4920, 5821, 5826, 5841, 6340, and 6615.

L1:(iii) The manufacturer name, make, model number, model year, and serial number for all aircraft under FSCs 1510 and

L0:1520.

L1:(2) If the schedules are acceptable, the plant clearance officer will confirm acceptance in the GFP module plant clearance

L0:capability, which will transmit a notification to the Contractor. The electronic acceptance is equivalent to the DD Form

L0:1637, Notice of Acceptance of Inventory.

L1:(f) Demilitarization, mutilation, and destruction. If demilitarization, mutilation, or destruction of contractor inventory is

L0:required, the Contractor shall demilitarize, mutilate, or destroy contractor inventory, in accordance with the terms and

L0:conditions of the contract and consistent with Defense Demilitarization Manual, DoD Manual (DoDM) 4160.28-M, edition

L0:in effect as of the date of this contract. If the property is available for purchase, the plant clearance officer may authorize

L0:the purchaser to demilitarize, mutilate, or destroy as a condition of sale provided the property is not inherently dangerous to

L0:public health and safety.

L1:(g) Classified Contractor inventory. The Contractor shall dispose of classified contractor inventory in accordance with L0:applicable security guides and regulations or as directed by the Contracting Officer.

L1:(h) Inherently dangerous Contractor inventory. Contractor inventory that is dangerous to public health or safety shall not

L0:be disposed of unless rendered innocuous or until adequate safeguards are provided.

L1:(i) Contractor inventory located in foreign countries. Consistent with contract terms and conditions, property disposition

L0:shall be in accordance with foreign and U.S. laws and regulations, including laws and regulations involving export

L0:controls, host nation requirements, final governing standards, and government-to-government agreements. The Contractor's

L0:responsibility to comply with all applicable laws and regulations regarding export-controlled items exists independent of,

L0:and is not established or limited by, the information provided by this clause.

L1:(j) Disposal of scrap.

L1:(1) Contractor scrap procedures.

L1:(i) The Contractor shall include, within its property management procedure, a process for the accountability and

L0:management of Government-owned scrap. The process shall, at a minimum, provide for the effective and efficient

L0:disposition of scrap, including sales to scrap dealers, so as to minimize costs, maximize sales proceeds, and contain the

L0:necessary internal controls for mitigating the improper release of non-scrap property.

L1:(ii) The Contractor may commingle Government and contractor-owned scrap and provide routine disposal of scrap, with

L0:plant clearance officer concurrence, when determined to be effective and efficient.

L1:(2) Scrap warranty. The plant clearance officer may require the Contractor to secure from scrap buyers a DD Form 1639,

L0:Scrap Warranty.

L1:(k) Sale of surplus Contractor inventory.

L1:(1) Sales procedures.

L1:(i) The Contractor shall conduct sales of contractor inventory (both useable property and scrap) in accordance with the

L0:requirements of this contract and plant clearance officer direction. The Contractor shall include in its invitation for bids the

L0:sales terms and conditions provided by the plant clearance officer.

L1:(ii) The Contractor may conduct internet-based sales, to include use of a third party.

L1:(iii) If the Contractor wishes to bid on the sale, the Contractor or its employees shall submit bids to the plant clearance

L0:officer prior to soliciting bids from other prospective bidders.

L1:(iv) The Contractor shall solicit bids to obtain adequate competition. Negotiated sales are subject to obtaining such

L0:competition as is feasible under the circumstances of the negotiated sale.

L1:(v) The Contractor shall solicit bids at least 15 calendar days before bid opening to allow adequate opportunity to inspect

L0:the property and prepare bids.

L1:(vi) For large sales, the Contractor may use summary lists of items offered as bid sheets with detailed descriptions attached.

L1:(vii) In addition to providing notice of the proposed sale to prospective bidders, the Contractor may, when the results are

L0:expected to justify the additional expense, display a notice of the proposed sale in appropriate public places, e.g., publish a

L0:sales notice on the internet, in appropriate trade journals or magazines, and in local newspapers.

L1:(viii) The plant clearance officer or designated Government representative will witness the bid opening. The Contractor

L0:shall submit the bid abstract in electronic format to the plant clearance officer within 2 days of bid opening. If the

L0:Contractor is unable to submit the bid abstract electronically, the Contractor may submit 2 copies of the abstract manually

L0:within 2 days of bid opening. The plant clearance officer will not approve award to any bidder who is an ineligible

L0:transferee.

L1:(2) Required terms and conditions for sales contracts. The Contractor shall include the following terms and conditions in

L0:sales contracts:

L1:(i) For sales contracts or other documents transferring title: ?The Purchaser certifies that the property covered by this

L0:contract will be used in [insert name of country]. In the event of resale or export by the Purchaser of any of the property,

L0:the Purchaser agrees to obtain the appropriate U.S. and foreign export or re-export license approval.?

L1:(ii) For sales contracts that require demilitarization, mutilation, or destruction of property:

L0:~The following items [insert list provided by plant clearance officer] require demilitarization, mutilation, or destruction by

L0:the Purchaser. Additional instructions are provided in accordance with Defense Demilitarization Manual, DoDM 4160.28M, edition in effect as of the date of this sales contract. A Government representative will certify and verify

L0:demilitarization of items. Prepare demilitarization certificates in accordance with DoDM 4160.28, Volume 2, section 4.5,

L0:DEMIL Certificate (see figure 2, Example DEMIL Certificate).?

L1:(iii) Removal and title transfer:

L0:~Property requiring demilitarization shall not be removed, and title shall not pass to the Purchaser, until demilitarization

L0:has been accomplished and verified by a Government representative.?

L1:(iv) Assumption of cost incident to demilitarization:

L0:~The Purchaser agrees to assume all costs incident to the demilitarization and to restore the working area to its present

L0:condition after removing the demilitarized property.?

L1:(v) Failure to demilitarize:

L0:~If the Purchaser fails to demilitarize, mutilate, or destroy the property as specified in the sales contract, the Contractor

L0:may, upon giving 10 days written notice to the Purchaser?

L1:(A) Repossess, demilitarize, and return the property to the Purchaser, in which case the Purchaser hereby agrees to pay to

L0:the Contractor, prior to the return of the property, all costs incurred by the Contractor in repossessing, demilitarizing, and

L0:returning the property;

L1:(B) Repossess, demilitarize, and resell the property, and charge the defaulting Purchaser with all costs incurred by the

L0:Contractor. The Contractor shall deduct these costs from the purchase price and refund the balance of the purchase price, if

L0:any, to the Purchaser. In the event the costs exceed the purchase price, the defaulting Purchaser hereby agrees to pay these

L0:costs to the Contractor; or

L1:(C) Repossess and resell the property under similar terms and conditions, and charge the defaulting Purchaser with all costs

L0:incurred by the Contractor. The Contractor shall deduct these costs from the original purchase price and refund the balance

L0:of the purchase price, if any, to the defaulting Purchaser. Should the excess costs to the Contractor exceed the purchase

L0:price, the defaulting Purchaser hereby agrees to pay these costs to the Contractor.?

L1:(l) Restrictions on purchase or retention of Contractor inventory. The Contractor may not knowingly sell the inventory to

L0:any person or that person's agent, employee, or household member if that person?

L1:(1) Is a civilian employee of DoD or the U.S. Coast Guard;

L1:(2) Is a member of the Armed Forces of the United States, including the U.S. Coast Guard; or

L1:(3) Has any functional or supervisory responsibilities for or within DoD's property disposal, disposition, or plant clearance

L0:programs or for the disposal of contractor inventory.

L1:(m) Proceeds from sales of surplus property. Unless otherwise provided in the contract, the proceeds of any sale, purchase,

L0:or retention shall be?

L1:(1) Forwarded to the Contracting Officer;

L1:(2) Credited to the Government as part of the settlement agreement pursuant to the termination of the contract;

L1:(3) Credited to the price or cost of the contract; or

L1:(4) Applied as otherwise directed by the Contracting Officer.

L0:(End of clause)

252.225-7049 Prohibition on Acquisition of Certain Foreign Commercial Satellite Services?Representations

Status: active

L0:252.225-7049 Prohibition on Acquisition of Certain Foreign Commercial Satellite Services?Representations.

L0:As prescribed in 252.772-5 (a),use the following provision:

L0:PROHIBITION ON ACQUISITION OF CERTAIN FOREIGN COMMERCIAL SATELLITE SERVICES?

L0:REPRESENTATIONS (DEC 2018)

L1:(a) Definitions.As used in this provision?

L0:?Covered foreign country,? ?foreign entity,? ?government of a covered foreign country,? ?launch vehicle,? ?satellite

L0:services,? and ?state sponsor of terrorism? are defined in the clause at Defense Federal Acquisition Regulation Supplement

L1:(DFARS) 252.225-7051 , Prohibition on Acquisition of Certain Commercial Satellite Services.

L0:"Cybersecurity risk" means threats to and vulnerabilities of information or information systems and any related

L0:consequences caused by or resulting from unauthorized access, use, disclosure, degradation, disruption, modification, or

L0:destruction of such information or information systems, including such related consequences caused by an act of terrorism.

L0:(10 U.S.C. 2279)

L1:(b) Prohibition on award. In accordance with 10 U.S.C. 2279, unless an exception is determined to apply in accordance

L0:with DFARS 225.772-4 , no contract for commercial satellite services may be awarded to?

L1:(1)(i) A foreign entity if the Under Secretary of Defense for Acquisition and Sustainment or the Under Secretary of

L0:Defense for Policy reasonably believes that?

L1:(A) The foreign entity is an entity in which the government of a covered foreign country has an ownership interest that

L0:enables the government to affect satellite operations;

L1:(B) The foreign entity plans to, or is expected to, provide or use launch or other satellite services under the contract from a

L0:covered foreign country; or

L1:(C) Entering into such contract would create an unacceptable cybersecurity risk for DoD; or

L1:(ii) An offeror that is offering to provide the commercial satellite services of a foreign entity as described in paragraph (b)

L1:(1) of this section; or

L1:(2)(i) Any entity, except as provided in paragraph (b)(2)(ii) of this provision, for a launch that occurs on or after December

L0:31, 2022, if the Under Secretary of Defense for Acquisition and Sustainment or the Under Secretary of Defense for Policy

L0:reasonably believes that such satellite service will be provided using satellites that will be?

L1:(A) Designed or manufactured?

L1:(1) In a covered foreign country; or

L1:(2) By an entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country; or

L1:(B) Launched outside the United States, using a launch vehicle that is?

L1:(1) Designed or manufactured in a covered foreign country; or

L1:(2) Provided by?

L1:(i) The government of a covered foreign country; or

L1:(ii) An entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country.

L1:(ii) The prohibition in paragraph (b)(2)(i)(B) of this provision does not apply with respect to launch vehicles for which the

L0:satellite service provider has a contract or other agreement relating to launch services that, prior to June 10, 2018, was

L0:either fully paid for by the satellite service provider or covered by a legally binding commitment of the satellite service

L0:provider to pay for such services.

L1:(c) Representations. The Offeror represents that?

L1:(1) It [] is, [] is not a foreign entity in which the government of a covered foreign country has an ownership interest that

L0:enables the government to affect satellite operations. If affirmative, identify the covered foreign country:_____;

L1:(2) It [] is, [] is not a foreign entity that plans to provide satellite services under the contract from a covered foreign

L0:country. If affirmative, identify the covered foreign country:_____;

L1:(3) It [] is, [] is not offering commercial satellite services provided by a foreign entity in which the government of a

L0:covered foreign country has an ownership interest that enables the government to affect satellite operations. If affirmative,

L0:identify the foreign entity and the covered foreign country:_____;

L1:(4) It [] is, [] is not offering commercial satellite services provided by a foreign entity that plans to or is expected to

L0:provide satellite services under the contract from a covered foreign country. If affirmative, identify the foreign entity and

L0:the covered foreign country:_____;

L1:(5) It [] is, [] is not offering commercial satellite services that will use satellites, launched on or after December 31, 2022,

L0:that will be designed or manufactured in a covered foreign country. If affirmative, identify the covered foreign

L0:country:_____;

L1:(6) It [] is, [] is not offering commercial satellite services that will use satellites, launched on or after December 31, 2022,

L0:that will be designed or manufactured by an entity controlled in whole or in part by, or acting on behalf of, the government

L0:of a covered foreign country. If affirmative, identify the entity, the covered foreign country, and the relationship of the L0:entity to the government of the covered foreign country:_____;

L1:(7) It [] is, [] is not offering commercial satellite services that will use satellites, launched outside the United States on or

L0:after December 31, 2022, using a launch vehicle that is designed or manufactured in a covered foreign country. If

L0:affirmative, identify the covered foreign country:_____;

L1:(8) It [] is, [] is not offering commercial satellite services that will use satellites, launched outside the United States on or

L0:after December 31, 2022, using a launch vehicle that is provided by the government of a covered foreign country. If

L0:affirmative, identify the covered foreign country:_____; and

L1:(9) It [] is, [] is not offering commercial satellite services that will use satellites, launched outside the United States on or

L0:after December 31, 2022, using a launch vehicle that is provided by an entity controlled in whole or in part by, or acting on

L0:behalf of, the government of a covered foreign country. If affirmative, identify the entity, the covered foreign country, and

L0:the relationship of the entity to the government of the covered foreign country:_____.

L1:(d) Disclosure. If the Offeror has responded affirmatively to any representation in paragraphs (c)(7) through (c)(9) of this

L0:provision, and if such launches are covered in whole or in part by a contract or other agreement relating to launch services

L0:that, prior to June 10, 2018, was either fully paid for by the satellite service provider or covered by a legally binding

L0:commitment of the satellite service provider to pay for such services, provide the following information:

L1:(1) The entity awarded the contract or other agreement:_____.

L1:(2) The date the contract or other agreement was awarded:_____.

L1:(3) The period of performance for the contract or other agreement:_____.

L1:(e) The representations in paragraph (c) of this provision are a material representation of fact upon which reliance will be

L0:placed when making award. If it is later determined that the Offeror knowingly rendered an erroneous representation, in

L0:addition to other remedies available to the Government, the Contracting Officer may terminate the contract resulting from

L0:this solicitation for default.

L0:(End of provision)

252.225-7050 Disclosure of Ownership or Control by the Government of a Country that is a State Sponsor of

Status: active

L0:252.225-7050 Disclosure of Ownership or Control by the Government of a Country that is a State Sponsor of L0:Terrorism.

L0:As prescribed in 225.771-5, use the following provision:

L0:DISCLOSURE OF OWNERSHIP OR CONTROL BY THE GOVERNMENT OF A COUNTRY THAT IS A STATE

L0:SPONSOR OF TERRORISM (DEC 2022)

L1:(a) Definitions.As used in this provision?

L0:Government of a country that is a state sponsor of terrorism? includes the state and the government of a country that is a

L0:state sponsor of terrorism, as well as any political subdivision, agency, or instrumentality thereof.

L0:Significant interest? means?

L1:(1) Ownership of or beneficial interest in 5 percent or more of the firm?s or subsidiary?s securities. Beneficial interest

L0:includes holding 5 percent or more of any class of the firm?s securities in ?nominee shares,? ?street names,? or some other

L0:method of holding securities that does not disclose the beneficial owner;

L1:(2) Holding a management position in the firm, such as a director or officer;

L1:(3) Ability to control or influence the election, appointment, or tenure of directors or officers in the firm;

L1:(4) Ownership of 10 percent or more of the assets of a firm such as equipment, buildings, real estate, or other tangible

L0:assets of the firm; or

L1:(5) Holding 50 percent or more of the indebtedness of a firm.

L0:State sponsor of terrorism? means a country determined by the Secretary of State, under section 1754(c)(1)(A)(i) of the

L0:Export Control Reform Act of 2018 (Title XVII, Subtitle B, of the National Defense Authorization Act for Fiscal Year

L0:2019, Pub. L. 115-232), to be a country the government of which has repeatedly provided support for acts of international

L0:terrorism. As of the date of this provision, state sponsors of terrorism include Iran, North Korea, Sudan, and Syria.

L1:(b) Prohibition on award. In accordance with 10 U.S.C. 4871, unless a waiver is granted by the Secretary of Defense, no

L0:contract may be awarded to a firm if the government of a country that is a state sponsor of terrorism owns or controls a

L0:significant interest in?

L1:(1) The firm;

L1:(2) A subsidiary of the firm; or

L1:(3) Any other firm that owns or controls the firm.

L1:(c) Representation.Unless the Offeror submits with its offer the disclosure required in paragraph (d) of this provision, the

L0:Offeror represents, by submission of its offer, that the government of a country that is a state sponsor of terrorism does not

L0:own or control a significant interest in?

L1:(1) The Offeror;

L1:(2) A subsidiary of the Offeror; or

L1:(3) Any other firm that owns or controls the Offeror.

L1:(d) Disclosure.

L1:(1) The Offeror shall disclose in an attachment to its offer if the government of a country that is a state sponsor of

terrorism

L0:owns or controls a significant interest in the Offeror; a subsidiary of the Offeror; or any other firm that owns or controls the

L0:Offeror.

L1:(2) The disclosure shall include?

L1:(i) Identification of each government holding a significant interest; and

L1:(ii) A description of the significant interest held by each government.

L0:(End of provision)

252.225-7051 Prohibition on Acquisition of Certain Foreign Commercial Satellite Services

Status: active

L0:252.225-7051 Prohibition on Acquisition of Certain Foreign Commercial Satellite Services.

L0:As prescribed in 225.772-5, use the following clause:

L0:PROHIBITION ON ACQUISITION OF CERTAIN FOREIGN COMMERCIAL SATELLITE SERVICES (DEC 2022)

L1:(a) Definitions.As used in this clause?

L0:?Covered foreign country? means?

L1:(1) The People?s Republic of China;

L1:(2) North Korea;

L1:(3) The Russian Federation; or

L1:(4) Any country that is a state sponsor of terrorism. (10 U.S.C. 2279)

L0:?Foreign entity? means?

L1:(1) Any branch, partnership, group or sub-group, association, estate, trust, corporation or division of a corporation, or organization organized under the laws of a foreign state if either its principal place of business is outside the United States

L0:or its equity securities are primarily traded on one or more foreign exchanges.

L1:(2) Notwithstanding paragraph (1) of this definition, any branch, partnership, group or sub-group, association, estate, trust,

L0:corporation or division of a corporation, or organization that demonstrates that a majority of the equity interest in such

L0:entity is ultimately owned by U.S. nationals is not a foreign entity. (31 CFR 800.212)

L0:?Government of a covered foreign country? includes the state and the government of a covered foreign country, as well as

L0:any political subdivision, agency, or instrumentality thereof.

L0:?Launch vehicle? means a fully integrated space launch vehicle. (10 U.S.C. 2279)

L0:?Satellite services? means communications capabilities that utilize an on-orbit satellite for transmitting the signal from one

L0:location to another.

L0:?State sponsor of terrorism? means a country determined by the Secretary of State, under section 1754(c)(1)(A)(i) of the

L0:Export Control Reform Act of 2018 (Title XVII, Subtitle B, of the National Defense Authorization Act for Fiscal Year

L0:2019, Pub. L. 115-232)], to be a country the government of which has repeatedly provided support for acts of international

L0:terrorism. As of the date of this provision, state sponsors of terrorism include Iran, North Korea, Sudan, and Syria.

(10

L0:U.S.C. 4871)

L1:(b) Limitation. Unless specified in its offer, the Contractor shall not provide satellite services under this contract that?

L1:(1) Are from a covered foreign country; or

L1:(2) Except as provided in paragraph (c), use satellites that will be(i) Designed or manufactured?

L1:(A) In a covered foreign country; or

L1:(B) By an entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country; or

L1:(ii) Launched outside the United States using a launch vehicle that is designed or manufactured?

L1:(A) In a covered foreign country; or

L1:(B) Provided by?

L1:(1) The government of a covered foreign country; or

L1:(2) An entity controlled in whole or in part by, or acting on behalf of, the government of a covered foreign country.

L1:(c) Exception. The limitation in paragraph (b)(2) shall not apply with respect to?

L1:(1) A launch that occurs prior to December 31, 2022; or

L1:(2) A satellite service provider that has a contract or other agreement relating to launch services that, prior to June 10, 2018,

L0:was either fully paid for by the satellite service provider or covered by a legally binding commitment of the satellite service

L0:provider to pay for such services.

L0:(End of clause)

252.225-7052 Restriction on the Acquisition of Certain Magnets, Tantalum, and Tungsten

Status: active

L0:252.225-7052 Restriction on the Acquisition of Certain Magnets, Tantalum, and Tungsten.

L0:As prescribed in 25.7018-5 , use the following clause:

L0:Restriction on the Acquisition of Certain Magnets, Tantalum, and Tungsten (MAY 2024)

L1:(a) Definitions. As used in this clause?

L0:?'Assembly?' means an item forming a portion of a system or subsystem that?

L1:(1) Can be provisioned and replaced as an entity; and

L1:(2) Incorporates multiple, replaceable parts.

L0:?'Commercially available off-the-shelf item'?

L1:(1) Means any item of supply that is?

L1:(i) A commercial product (as defined in paragraph (1) of the definition of ?commercial product? in section 2.101 of the

L0:Federal Acquisition Regulation);

L1:(ii) Sold in substantial quantities in the commercial marketplace; and

L1:(iii) Offered to the Government, under this contract or a subcontract at any tier, without modification, in the same form in

L0:which it is sold in the commercial marketplace; and

L1:(2) Does not include bulk cargo, as defined in 46 U.S.C. 40102(4), such as agricultural products and petroleum products.

L0:?'Component?' means any item supplied to the Government as part of an end item or of another component.

L0:Covered country? means?

L1:(1) The Democratic People's Republic of North Korea;

L1:(2) The People's Republic of China;

L1:(3) The Russian Federation; or

L1:(4) The Islamic Republic of Iran.

L0:Covered material? means?

L1:(1) Samarium-cobalt magnets;

L1:(2) Neodymium-iron-boron magnets;

L1:(3) Tantalum metals and alloys;

L0:(4) Tungsten metal powder; and

L0:(5) Tungsten heavy alloy or any finished or semi-finished component containing tungsten heavy alloy.

L0:Electronic device? means an item that operates by controlling the flow of electrons or other electrically charged particles

L0:in circuits, using interconnections such as resistors, inductors, capacitors, diodes, switches, transistors, or integrated L0:circuits.

L0:End item? means the final production product when assembled or completed and ready for delivery under a line item of

L0:this contract.

L0:Subsystem? means a functional grouping of items that combine to perform a major function within an end item, such as

L0:electrical power, attitude control, and propulsion.

L0:Tungsten heavy alloy? means a tungsten base pseudo alloy that?

L1:(1) Meets the specifications of ASTM B777 or SAE-AMS-T-21014 for a particular class of tungsten heavy alloy; or

L1:(2) Contains at least 90 percent tungsten in a matrix of other metals (such as nickel-iron or nickel-copper) and has density

L0:of at least 16.5 g/cm3).

L1:(b) Restriction.

L1:(1) Except as provided in paragraph (c) of this clause,?

L1:(i) Effective through December 31, 2026, the Contractor shall not deliver under this contract any covered material melted

L0:or produced in any covered country, or any end item, manufactured in any covered country, that contains a covered

L0:material (10 U.S.C. 4872).

L1:(ii) Effective January 1, 2027, the Contractor shall not deliver under this contract any covered material mined, refined,

L0:separated, melted, or produced in any covered country, or any end item, manufactured in any covered country, that contains

L0:a covered material (section 854, Pub. L. 118-31; 10 U.S.C. 4872).

L1:(2)(i)(A) Effective through December 31, 2026, for samarium-cobalt magnets and neodymium-iron-boron magnets, this

L0:restriction includes?

L0:(1) Melting samarium with cobalt to produce the samarium-cobalt alloy or melting neodymium with iron and boron to

L0:produce the neodymium-iron-boron alloy; and

L0:(2) All subsequent phases of production of the magnets, such as powder formation, pressing, sintering or bonding, and

L0:magnetization.

L1:(B) Effective January 1, 2027, for samarium-cobalt magnets this restriction includes the entire supply chain from mining or

L0:production of a cobalt and samarium ore or feedstock, including recycled material, through production of finished magnets.

L1:(ii) The restriction on melting and producing of samarium-cobalt magnets is in addition to any applicable restrictions on

L0:melting of specialty metals if the clause at 252.225-7009 , Restriction on Acquisition of Certain Articles Containing

L0:Specialty Metals, is included in the contract.

L1:(3) Effective January 1, 2027, for neodymium-iron-boron magnets, this restriction includes the entire supply chain from

L0:mining of neodymium, iron, and boron through production of finished magnets.

L1:(4)(i) Effective through December 31, 2026, for production of tantalum metals of any kind and alloys, this restriction

L0:includes the reduction or melting of any form of tantalum to create tantalum metal including unwrought, powder, mill

L0:products, and alloys. The restriction also covers all subsequent phases of production of tantalum metals and alloys.

L1:(ii) Effective January 1, 2027, for production of tantalum metals of any kind and alloys, this restriction includes mining or

L0:production of a tantalum ore or feedstock, including recycled material, through production of metals of any kind and

L0:alloys.

L1:(5)(i) Effective through December 31, 2026, for production of tungsten metal powder and tungsten heavy alloy, this

L0:restriction includes-

L1:(A) Atomization;

L1:(B) Calcination and reduction into powder;

L1:(C) Final consolidation of non-melt derived metal powders; and

L1:(D) All subsequent phases of production of tungsten metal powder, tungsten heavy alloy, or any finished or semi-finished

L0:component containing tungsten heavy alloy.

L1:(ii) Effective January 1, 2027, for production of tungsten metal powder, tungsten heavy alloy, or any finished or semifinished component containing tungsten heavy alloy, this restriction includes mining or production of a tungsten ore or

L0:feedstock, including recycled material, through production of tungsten metal powders, tungsten heavy alloy, or any

L0:finished or semi-finished component containing tungsten heavy alloy.

L1:(c) Exceptions. This clause does not apply?

L1:(1) To an end item containing a covered material that is?

L1:(i) A commercially available off-the-shelf item, other than?

L1:(A) A commercially available off-the-shelf item that is?

L1:(1) 50 percent or more tungsten by weight effective through December 31, 2026; or

L1:(2) 50 percent or more covered material by weight effective January 1, 2027;

L1:(B) Effective through December 31, 2026, a tantalum metal, tantalum alloy, or tungsten heavy alloy, such as bar, billet,

L0:slab, wire, cube, sphere, block, blank, plate, or sheet, that has not been incorporated into an end item, subsystem, assembly,

L0:or component;

L1:(ii) Effective January 1, 2027, a covered material that is a mill product, such as bar, billet, slab, wire, cube, sphere, block,

L0:blank, plate, or sheet, that has not been incorporated into an end item, subsystem, assembly, or component;

L1:(iii)An electronic device, unless otherwise specified in the contract; or

L1:(iv) A neodymium-iron-boron magnet manufactured from recycled material if the milling of the recycled material and L0:sintering of the final magnet takes place in the United States.

L1:(2) If the authorized agency official concerned has made a nonavailability determination, in accordance with section L0:225.7018-4 of the Defense Federal Acquisition Regulation Supplement, that compliant covered materials of satisfactory

L0:quality and quantity, in the required form, cannot be procured as and when needed at a reasonable price.

L1:(i) For tantalum metal, tantalum alloy, or tungsten heavy alloy, the term ?required form? refers to the form of the mill L0:product, such as bar, billet, wire, slab, plate, or sheet, in the grade appropriate for the production of a finished end item to

L0:be delivered to the Government under this contract; or a finished component assembled into an end item to be delivered to

L0:the Government under the contract.(ii) For samarium-cobalt magnets or neodymium-iron-boron magnets, the term L0:?required form? refers to the form and properties of the magnets.

L1:(d) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (d), in subcontracts and

L0:other contractual instruments that are for items containing a covered material, including subcontracts and other contractual

L0:instruments for commercial products, unless an exception in paragraph (c) of this clause applies. The Contractor shall not

L0:alter this clause other than to identify the appropriate parties.

L0:(End of clause)

252.225-7053 Representation Regarding Prohibition on Use of Certain Energy Sourced from Inside the Russian

Status: active

L0:252.225-7053 Representation Regarding Prohibition on Use of Certain Energy Sourced from Inside the Russian L0:Federation.

L0:As prescribed in 225.7019-4 Solicitation provision and contract clause.(a), use the following provision:

L0:REPRESENTATION REGARDING PROHIBITION ON USE OF CERTAIN ENERGY SOURCED FROM INSIDE THE

L0:RUSSIAN FEDERATION (AUG 2021)

L1:(a) Definitions. As used in this provision?

L0:Covered military installation means a military installation in Europe identified by DoD as a main operating base.

L0:Furnished energy means energy furnished to a covered military installation in any form and for any purpose, including

L0:heating, cooling, and electricity.

L0:Main operating base means a facility outside the United States and its territories with permanently stationed operating

L0:forces and robust infrastructure.

L1:(b) Prohibition. In accordance with section 2821 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L.

L0:116-92), contracts for the acquisition of furnished energy for a covered military installation shall not use any energy L0:sourced from inside the Russian Federation as a means of generating the furnished energy for the covered military L0:installation, unless a waiver is approved. The prohibition?

L1:(1) Applies to all forms of energy that are furnished to a covered military installation; and

L1:(2) Does not apply to energy converted by a third party into another form of energy and not directly delivered to a covered

L0:military installation.

L1:(c) Representation. By submission of its offer, the Offeror represents that the Offeror will not use or provide any energy

L0:sourced from inside the Russian Federation as a means of generating the furnished energy for the covered military

L0:installation in the performance of any contract, subcontract, or other contractual instrument resulting from this solicitation.

L0:(END OF PROVISION)

252.225-7054 Prohibition on Use of Certain Energy Sourced from Inside the Russian Federation

Status: active

L0:252.225-7054 Prohibition on Use of Certain Energy Sourced from Inside the Russian Federation.

L0:As prescribed in 225.7019-4 Solicitation provision and contract clause.(b), use the following clause:

L0:PROHIBITION ON USE OF CERTAIN ENERGY SOURCED FROM INSIDE THE RUSSIAN FEDERATION (JAN **L0:2023**)

L1:(a) Definitions. As used in this clause?

L0:Covered military installation means a military installation in Europe identified by DoD as a main operating base.

L0:Furnished energy means energy furnished to a covered military installation in any form and for any purpose, including

L0:heating, cooling, and electricity.

L0:Main operating base means a facility outside the United States and its territories with permanently stationed operating

L0:forces and robust infrastructure.

L1:(b) Prohibition. In accordance with section 2821 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L.

L0:116-92), the Contractor shall not use in the performance of this contract any energy sourced from inside the Russian L0:Federation as a means of generating the furnished energy for the covered military installation unless a waiver is approved.

L0:The prohibition?

L1:(1) Applies to all forms of energy that are furnished to a covered military installation; and

L1:(2) Does not apply to energy converted by a third party into another form of energy and not directly delivered to a covered

L0:military installation.

L1:(c) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (c), in subcontracts and

L0:other commercial instruments that are for furnished energy at a covered military installation, including subcontracts and

L0:commercial instruments for commercial products.

L0:(END OF CLAUSE)

252.225-7055 Representation Regarding Business Operations with the Maduro Regime

Status: active

L0:252.225-7055 Representation Regarding Business Operations with the Maduro Regime.

L0:As prescribed in 225.7020-5(a), use the following provision:

L0:REPRESENTATION REGARDING BUSINESS OPERATIONS WITH THE MADURO REGIME (MAY 2022)

L1:(a) Definitions. As used in this provision?

L0:Agency or instrumentality of the government of Venezuela, business operations, government of Venezuela, and person

L0:have the meaning given in the clause 252.225-7056, Prohibition Regarding Business Operations with the Maduro Regime,

L0:of this solicitation.

L1:(b) Prohibition. In accordance with section 890 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L.

L0:116-92), DoD is prohibited from entering into a contract for the procurement of products or services with any person that

L0:has business operations with an authority of the government of Venezuela that is not recognized as the legitimate

L0:government of Venezuela by the U.S. Government, unless the person has a valid license to operate in Venezuela issued by

L0:the Office of Foreign Assets Control of the Department of the Treasury.

L1:(c) Representation. By submission of its offer, the Offeror represents that the Offeror is a person that?

L1:(1) Does not have any business operations with an authority of the Maduro regime or the government of Venezuela that is

L0:not recognized as the legitimate government of Venezuela by the U.S. Government; or

L1:(2) Has a valid license to operate in Venezuela issued by the Office of Foreign Assets Control of the Department of the

L0:Treasury.

L0:(End of provision)

252.225-7056 Prohibition Regarding Business Operations with the Maduro Regime

Status: active

L0:252.225-7056 Prohibition Regarding Business Operations with the Maduro Regime.

L0:As prescribed in 225.7020-5(b), use the following clause:

L0:PROHIBITION REGARDING BUSINESS OPERATIONS WITH THE MADURO REGIME (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Agency or instrumentality of the government of Venezuela means an agency or instrumentality of a foreign state as defined

L0:in 28 U.S.C. 1603(b), with each reference in section 1603(b) to a foreign state deemed to be a reference to Venezuela.

L0:Business operations means engaging in commerce in any form, including acquiring, developing, maintaining, owning,

L0:selling, possessing, leasing, or operating equipment, facilities, personnel, products, services, personal property, real property, or any other apparatus of business or commerce.

L0:Government of Venezuela means the government of any political subdivision of Venezuela, and any agency or instrumentality of the government of Venezuela.

L0:Person means?

L1:(1) A natural person, corporation, company, business association, partnership, society, trust, or any other nongovernmental

L0:entity, organization, or group;

L1:(2) Any governmental entity or instrumentality of a government, including a multilateral development institution (as defined in section 1701(c)(3) of the International Financial Institutions Act (22 U.S.C. 262r(c)(3)); and

L1:(3) Any successor, subunit, parent entity, or subsidiary of, or any entity under common ownership or control with, any

L0:entity described in paragraph (1) or (2) of this definition.

L1:(b) Prohibition. In accordance with section 890 of the National Defense Authorization Act for Fiscal Year 2020 (Pub. L.

L0:116-92), DoD is prohibited from entering into a contract for the procurement of products or services with any person that

L0:has business operations with an authority of the government of Venezuela that is not recognized as the legitimate

L0:government of Venezuela by the U.S. Government, unless the person has a valid license to operate in Venezuela issued by

L0:the Office of Foreign Assets Control of the Department of the Treasury.

L1:(c) The Contractor shall?

L1:(1) Not have any business operations with an authority of the Maduro regime or the government of Venezuela that is not

L0:recognized as the legitimate government of Venezuela by the U.S. Government; or

L1:(2) Have a valid license to operate in Venezuela issued by the Office of Foreign Assets Control of the Department of the

L0:Treasury.

L1:(d) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (d), in all subcontracts,

L0:including subcontracts for the acquisition of commercial products.

L0:(End of clause)

252.225-7057 Preaward Disclosure of Employment of Individuals Who Work in the People's Republic of China

Status: active

L0:252.225-7057 Preaward Disclosure of Employment of Individuals Who Work in the People's Republic of China.

L0:As prescribed in 225.7021-4(a), use the following provision:

L0:PREAWARD DISCLOSURE OF EMPLOYMENT OF INDIVIDUALS WHO WORK IN THE PEOPLE'S REPUBLIC
L0:OF CHINA (AUG 2022)

L1:(a) Definitions. As used in this provision?

L0: "Covered contract" and "covered entity" have the meaning given in the clause 252.225-7058, Postaward Disclosure of

L0: Employment of Individuals Who Work in the People's Republic of China.

L1:(b) Prohibition on award. In accordance with section 855 of the National Defense Authorization Act for Fiscal Year 2022

L0:(Pub. L. 117-81, 10 U.S.C. 4651 note prec.), DoD may not award a contract to the Offeror if it is a covered entity and

L0: proposes to employ one or more individuals who will perform work in the People's Republic of China on a covered

L0: contract, unless the Offeror has disclosed its use of workforce and facilities in the People's Republic of China.

L1:(c) Preaward disclosure requirement. At the time of submission of an offer for a covered contract, an Offeror that is a L0: covered entity shall provide disclosures to include?

L1:(1) The proposed use of workforce on a covered contract or subcontract, if the Offeror employs one or more individuals

L0: who perform work in the People's Republic of China;

L1:(2) The total number of such individuals who will perform work in the People's Republic of China; and

L1:(3) A description of the physical presence, including street address or addresses, in the People's Republic of China, where

L0: work on the covered contract will be performed.

L0: (End of provision)

252.225-7058 Postaward Disclosure of Employment of Individuals Who Work in the People's Republic of China

Status: active

L0: 252.225-7058 Postaward Disclosure of Employment of Individuals Who Work in the People's Republic of China.

L0: As prescribed in 225.7021-4(b), use the following clause:

L0: POSTAWARD DISCLOSURE OF EMPLOYMENT OF INDIVIDUALS WHO WORK IN THE PEOPLE'S REPUBLIC
L0: OF CHINA (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0: "Covered contract" means any DoD contract or subcontract with a value in excess of \$5 million, not including contracts for

L0: commercial products and commercial services. "Covered entity" means any corporation, company, limited liability

L0: company, limited partnership, business trust, business association, or other similar entity, including any subsidiary thereof,

L0: performing work on a covered contract in the People's Republic of China, including by leasing or owning real property

L0: used in the performance of the covered contract in the People's Republic of China.

L1:(b) Disclosure requirement.

L1:(1) In accordance with section 855 of the National Defense Authorization Act for Fiscal Year 2022 (Pub. L. 117-81, 10

L0: U.S.C. 4651 note prec.), DoD may not award, extend, or exercise an option on a covered contract with a covered entity

L0: unless such covered entity submits each required disclosure of its use of workforce and facilities in the People's Republic

L0: of China, if it employs one or more individuals who perform work in the People's Republic of China on a covered

contract.

L1:(2) If the Contractor is a covered entity, the Contractor shall disclose for the Government's fiscal years 2023 and 2024, the

L0:Contractor's employment of one or more individuals who perform work in the People's Republic of China on any covered

L0:contract. The disclosures shall include?

L1:(i) The total number of such individuals who perform work in the People's Republic of China on the covered contracts

L0:funded by DoD; and

L1:(ii) A description of the physical presence, including street address or addresses in the People's Republic of China, where

L0:work on the covered contract is performed.

L1:(c) Subcontracts. The Contractor shall insert this clause, including this paragraph (c), without alteration other than to

L0:identify the appropriate parties, in all subcontracts that meet the definition of a covered contract.

L0:(End of clause)

252.225-7059 Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region-Representation

Status: active

L0:252.225-7059 Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region-Representation.

L0:As prescribed in 225.7022-5(a), use the following provision:

L0:PROHIBITION ON CERTAIN PROCUREMENTS FROM THE XINJIANG UYGHUR AUTONOMOUS REGION-

L0:REPRESENTATION (JUN 2023)

L1:(a) Definitions. "Forced labor" and "XUAR", as used in this provision, have the meaning given in the 252.225-7060,

L0:Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region, clause of this solicitation.

L1:(b) Prohibition. DoD may not knowingly procure any products mined, produced, or manufactured wholly or in part by

L0:forced labor from XUAR or from an entity that has used labor from within or transferred from XUAR as part of any forced

L0:labor programs, as specified in paragraph (b) of the 252.225-7060, Prohibition on Certain Procurements from the Xinjiang

L0:Uyghur Autonomous Region, clause of this solicitation.

L1:(c) Representation. By submission of its offer, the Offeror represents that it has made a good faith effort to determine that

L0:forced labor from XUAR will not be used in the performance of a contract resulting from this solicitation.

L0:(End of provision)

252.225-7060 Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region

Status: active

L0:252.225-7060 Prohibition on Certain Procurements from the Xinjiang Uyghur Autonomous Region.

L0:As prescribed in 225.7022-5(b), use the following clause:

L0:PROHIBITION ON CERTAIN PROCUREMENTS FROM THE XINJIANG UYGHUR AUTONOMOUS REGION (JUN L0:2023)

L1:(a) Definitions. As used in this clause?

L0:Forced labor? means any work or service that is exacted from any person under the menace of any penalty for its nonperformance and that the worker does not offer to perform (10 U.S.C. 2496).

L0:XUAR? means the Xinjiang Uyghur Autonomous Region of the People's Republic of China (10 U.S.C. 2496).

L1:(b) Prohibition. In accordance with 10 U.S.C. 4661, none of the funds appropriated or otherwise made available for DoD

L0:may be used to knowingly procure any products mined, produced, or manufactured wholly or in part by forced labor from

L0:XUAR or from an entity that has used labor from within or transferred from XUAR.The Contractor shall make a good faith

L0:effort to determine that forced labor from XUAR will not be used in the performance of this contract (section 855, Pub. L.

L0:117-263).

L1:(c) Subcontracts. The Contractor shall insert this clause, including this paragraph (c), without alteration other than to identify the appropriate parties, in subcontracts including subcontracts for commercial products, commercial services, and

L0:commercially available off-the-shelf items.

L0:(End of clause)

252.225-7061 Restriction on the Acquisition of Personal Protective Equipment and Certain Other Items from NonAllied Foreign Nations

Status: active

L0:252.225-7061 Restriction on the Acquisition of Personal Protective Equipment and Certain Other Items from NonAllied Foreign Nations.

L0:As prescribed in 25.7023-4, use the following clause:

L0:RESTRICTION ON THE ACQUISITION OF PERSONAL PROTECTIVE EQUIPMENT AND CERTAIN OTHER
L0:ITEMS FROM NON-ALLIED FOREIGN NATIONS (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Covered country? means?

L1:(1) The Democratic People's Republic of North Korea;

L1:(2) The People's Republic of China;

L1:(3) The Russian Federation; and

L1:(4) The Islamic Republic of Iran.

L0:Covered item? means an article or item of?

L1:(1) Personal protective equipment for use in preventing spread of disease, such as by exposure to infected individuals or

L0:contamination or infection by infectious material, including?

L1:(i) Nitrile and vinyl gloves;

L1:(ii) Surgical masks;

L1:(iii) Respirator masks and powered air purifying respirators and required filters;

L1:(iv) Face shields and protective eyewear;

L1:(v) Surgical and isolation gowns and head and foot coverings; or

L1:(vi) Clothing; and

L1:(vii) The materials and components thereof, other than sensors, electronics, or other items added to and not normally

L0:associated with such personal protective equipment or clothing; or

L1:(2) Sanitizing and disinfecting wipes, testing swabs, gauze, and bandages.

L1:(b) Restriction. The Contractor shall not deliver under this contract a covered item from a covered country (10 U.S.C. **L0:4875**).

L1:(c) Subcontracts. The Contractor shall insert this clause, including this paragraph (c), without alteration other than to L0:identify the appropriate parties, in subcontracts valued above \$150,000 that are for the acquisition of covered items, L0:including subcontracts for commercial products, including commercially available off-the-shelf items, and commercial L0:services.

L0:(End of clause)

252.225-7062 Restriction on Acquisition of Large Medium-Speed Diesel Engines

Status: active

L0:252.225-7062 Restriction on Acquisition of Large Medium-Speed Diesel Engines.

L0:As prescribed in 225.7004-7(b), use the following clause:

L0:RESTRICTION ON ACQUISITION OF LARGE MEDIUM-SPEED DIESEL ENGINES (JUL 2023)

L1:(a) Definition. As used in this clause?

L0:Large medium-speed diesel engines? means diesel engines whose revolutions per minute (RPM) fall between 300 and

L0:1500 RPM with a displacement greater than 1500 cubic inches per cylinder.

L1:(b) Restriction. As required by 10 U.S.C. 4864, the Contractor shall deliver under this contract large medium-speed diesel

L0:engines manufactured in the United States, Australia, Canada, New Zealand, or the United Kingdom.

L1:(c) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (c), in subcontracts that

L0:exceed the simplified acquisition threshold, including subcontracts for commercial products and commercial services, that

L0:require large medium-speed diesel engines for new construction of auxiliary ships.

L0:(End of clause)

252.225-7063 Restriction on Acquisition of Components of T-AO 205 and T-ARC Class Vessels

Status: active

L0:252.225-7063 Restriction on Acquisition of Components of T-AO 205 and T-ARC Class Vessels.

L0:As prescribed in 225.7004-7(c), use the following clause:

L0:RESTRICTION ON ACQUISITION OF COMPONENTS OF T-AO 205 AND T-ARC CLASS VESSELS (MAY 2024)

L1:(a) Restriction.

L1:(1) In accordance with 10 U.S.C. 4864, the following components of T-AO 205 and T-ARC class vessels must be

L0:manufactured in the United States, Australia, Canada, New Zealand, or the United Kingdom of Great Britain and Northern

L0:Ireland (United Kingdom):

L1:(i) Auxiliary equipment, including pumps, for all shipboard services.

L1:(ii) Propulsion system components, including engines, reduction gears, and propellers.

L1:(iii) Shipboard cranes.

L1:(iv) Spreaders for shipboard cranes.

L1:(2) The Contractor shall deliver under this contract only T-AO 205 and T-ARC class vessel components, as described in

L0:paragraph (a)(1) of this clause, manufactured in the United States, Australia, Canada, New Zealand, or the United Kingdom

L0:(10 U.S.C. 4864).

L1:(b) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (b), in subcontracts for

L0:the components described in paragraph (a)(1) of this clause that exceed the simplified acquisition threshold, including

L0:subcontracts for commercial products and commercial services.

L0:(End of clause)

252.225-7064 Restriction on Acquisition of Certain Satellite Components

Status: active

L0:252.225-7064 Restriction on Acquisition of Certain Satellite Components.

L0:As prescribed in 225.7004-7(d), use the following clause:

L0:RESTRICTION ON ACQUISITION OF CERTAIN SATELLITE COMPONENTS (MAY 2024)

L1:(a) Definition. As used in this clause?

L0:Star tracker? means a navigational tool used in a satellite weighing more than 400 pounds whose principal purpose is to

L0:support the national security, defense, or intelligence needs of the U.S. Government.

L1:(b) Restriction. In accordance with 10 U.S.C. 4864, a star tracker must be manufactured in the United States, Australia,

L0:Canada, New Zealand, or the United Kingdom of Great Britain and Northern Ireland (United Kingdom). The Contractor

L0:shall deliver under this contract only star trackers manufactured in the United States, Australia, Canada, New Zealand, or

L0:the United Kingdom.

L1:(c) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (c), in subcontracts for

L0:star trackers that exceed the simplified acquisition threshold, including subcontracts for commercial products and

L0:commercial services.

L0:(End of clause)

252.225-7065 Restriction on Acquisition of Fuel for Overseas Contingency Operations

L0:252.225-7065 Restriction on Acquisition of Fuel for Overseas Contingency Operations.

L0:As prescribed in 252.7024-4, use the following provision:

L0:Restriction on Acquisition of Fuel for Overseas Contingency Operations (Oct 2024)

L1:(a) Prohibition. For an overseas contingency operation, DoD may not procure fuel in whole or in part, or derivatives of

L0:such fuel, that is sourced from nations or regions prohibited from selling petroleum to the United States. See FAR subpart

L0:25.7 and the Office of Foreign Assets Control website at <https://ofac.treasury.gov/sanctions-programs-and-countryinformation> for prohibited sources.

L1:(b) Certification. Offerors shall complete the certification in paragraph (b)(1) of this provision and submit the certification

L0:with their offer.

L1:(1) The Offeror does [] does not [] certify that the fuel, in whole or in part, or derivatives of such fuel, to be provided L0:under any contract resulting from this solicitation is not sourced from a nation or region prohibited from selling petroleum

L0:to the United States.

L1:(2) Only Offerors who certify that the fuel to be provided is not sourced from a prohibited nation or region will be eligible

L0:for award.

L1:(c) Compliance.

L1:(1) When requested by the Contracting Officer, the prospective Contractor shall submit records necessary to demonstrate

L0:compliance with applicable laws and regulations regarding export-controlled items and anticorruption statutes and L0:regulations including?

L1:(i) The Foreign Corrupt Practices Act (15 U.S.C. 78dd-1 et seq.);

L1:(ii) International Traffic in Arms Regulations (ITAR) at 22 CFR parts 120 through 130 (also see Defense Federal L0:Acquisition Regulation Supplement (DFARS) clause 252.225-7048, Export-Controlled Items);

L1:(iii) Export Administration Regulations (EAR) at 15 CFR parts 730 through 774 (also see DFARS clause 252.225-7048);

L0:and

L1:(iv) Relevant regulations promulgated by the Office of Foreign Assets Control of the Department of the Treasury. Sanction

L0:information for specific countries and programs is available at <https://ofac.treasury.gov/sanctions-programs-and-countryinformation>.

L1:(2) The Offeror shall contact the Department of State regarding ITAR compliance and the Department of Commerce L0:regarding EAR compliance.

L1:(d) Reporting requirement. The Offeror shall, prior to contract award, promptly report to the Contracting Officer any L0:instance of unsupported denial of access to a facility or equipment by a host-nation government that may prevent it from

L0:complying with the terms and conditions of the solicitation.

L0:(End of provision)

252.226-7001 Utilization of Indian Organizations, Indian-Owned Economic Enterprises, and Native Hawaiian Small

Status: active

L0:252.226-7001 Utilization of Indian Organizations, Indian-Owned Economic Enterprises, and Native Hawaiian Small
L0:Business Concerns.

L0:As prescribed in 226.104 , use the following clause:

L0:UTILIZATION OF INDIAN ORGANIZATIONS, INDIAN-OWNED ECONOMIC ENTERPRISES, AND NATIVE
L0:HAWAIIAN SMALL BUSINESS CONCERNS (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?Indian? means?

L1:(1) Any person who is a member of any Indian tribe, band, group, pueblo, or community that is recognized by the Federal

L0:Government as eligible for services from the Bureau of Indian Affairs (BIA) in accordance with 25 U.S.C. 1452(c);
and

L1:(2) Any ?Native? as defined in the Alaska Native Claims Settlement Act (43 U.S.C. 1601 et seq.).

L0:?Indian organization? means the governing body of any Indian tribe or entity established or recognized by the governing

L0:body of an Indian tribe for the purposes of 25 U.S.C. Chapter 17.

L0:?Indian-owned economic enterprise? means any Indian-owned (as determined by the Secretary of the Interior) commercial,

L0:industrial, or business activity established or organized for the purpose of profit, provided that Indian ownership constitutes

L0:not less than 51 percent of the enterprise.

L0:?Indian tribe? means any Indian tribe, band, group, pueblo, or community, including native villages and native groups

L0:(including corporations organized by Kenai, Juneau, Sitka, and Kodiak) as defined in the Alaska Native Claims Settlement

L0:Act, that is recognized by the Federal Government as eligible for services from BIA in accordance with 25 U.S.C. 1452(c).

L0:?Interested party? means a contractor or an actual or prospective offeror whose direct economic interest would be affected

L0:by the award of a subcontract or by the failure to award a subcontract.

L0:?Native Hawaiian small business concern? means an entity that is?

L1:(1) A small business concern as defined in Section 3 of the Small Business Act (15 U.S.C. 632) and relevant implementing

L0:regulations; and

L1:(2) Owned and controlled by a Native Hawaiian as defined in 25 U.S.C. 4221(9).

L1:(b) The Contractor shall use its best efforts to give Indian organizations, Indian-owned economic enterprises, and Native

L0:Hawaiian small business concerns the maximum practicable opportunity to participate in the subcontracts it awards, to the

L0:fullest extent consistent with efficient performance of the contract.

L1:(c) The Contracting Officer and the Contractor, acting in good faith, may rely on the representation of an Indian

L0:organization, Indian-owned economic enterprise, or Native Hawaiian small business concern as to its eligibility,

unless an

L0:interested party challenges its status or the Contracting Officer has independent reason to question that status.

L1:(d) In the event of a challenge to the representation of a subcontractor, the Contracting Officer will refer the matter to?

L1:(1)(i) For matters relating to Indian organizations or Indian-owned economic enterprises:

L0:U.S. Department of the Interior

L0:Bureau of Indian Affairs

L0:Attn: Bureau Procurement Chief

L0:12220 Sunrise Valley Drive

L0:Reston, VA 20191

L0:Phone: 703-390-6433

L0:Website: <https://www.bia.gov/>

L1:(ii) The BIA will determine the eligibility and will notify the Contracting Officer.

L1:(2)(i) For matters relating to Native Hawaiian small business concerns:

L0:Department of Hawaiian Home Lands

L0:PO Box 1879

L0:Honolulu, HI 96805

L0:Phone: 808-620-9500

L0:Website: <http://dhhl.hawaii.gov/>

L1:(ii) The Department of Hawaiian Home Lands will determine the eligibility and will notify the Contracting Officer.

L1:(e) No incentive payment will be made?

L1:(1) While a challenge is pending; or

L1:(2) If a subcontractor is determined to be an ineligible participant.

L1:(f)(1) The Contractor, on its own behalf or on behalf of a subcontractor at any tier, may request an incentive payment in

L0:accordance with this clause.

L1:(2) The incentive amount that may be requested is 5 percent of the estimated cost, target cost, or fixed price included in the

L0:subcontract at the time of award to the Indian organization, Indian-owned economic enterprise, or Native Hawaiian small

L0:business concern.

L1:(3) In the case of a subcontract for commercial products or commercial services, the Contractor may receive an incentive

L0:payment only if the subcontracted items are produced or manufactured in whole or in part by an Indian organization,

L0:Indian-owned economic enterprise, or Native Hawaiian small business concern.

L1:(4) The Contractor has the burden of proving the amount claimed and shall assert its request for an incentive payment prior

L0:to completion of contract performance.

L1:(5) The Contracting Officer, subject to the terms and conditions of the contract and the availability of funds, will authorize

L0:an incentive payment of 5 percent of the estimated cost, target cost, or fixed price included in the subcontract awarded to

L0:the Indian organization, Indian-owned economic enterprise, or Native Hawaiian small business concern.

L1:(6) If the Contractor requests and receives an incentive payment on behalf of a subcontractor, the Contractor is obligated to

L0:pay the subcontractor the incentive amount.

L1:(g) The Contractor shall insert the substance of this clause, including this paragraph (g), in all subcontracts exceeding

L0:\$500,000.

L0:(End of clause)

252.226-7002 Representation for Demonstration Project for Contractors Employing Persons with Disabilities

Status: active

L0:252.226-7002 Representation for Demonstration Project for Contractors Employing Persons with Disabilities.

L0:As prescribed in 226.7203 , use the following provision:

L0:REPRESENTATION FOR DEMONSTRATION PROJECT FOR CONTRACTORS EMPLOYING PERSONS WITH

L0:DISABILITIES (DEC 2019)

L1:(a) Definitions. As used in this provision?

L0:Eligible contractor? means a business entity operated on a for-profit or nonprofit basis that?

L1:(1) Employs severely disabled individuals at a rate that averages not less than 33 percent of its total workforce over the 12month period prior to issuance of the solicitation;

L1:(2) Pays not less than the minimum wage prescribed pursuant to 29 U.S.C. 206 to the employees who are severely disabled

L0:individuals; and

L1:(3) Provides, for its employees, health insurance and a retirement plan comparable to those provided for employees by

L0:business entities of similar size in its industrial sector or geographic region.

L0:Severely disabled individual? means an individual with a disability (as defined in 42 U.S.C. 12102) who has a severe

L0:physical or mental impairment that seriously limits one or more functional capacities.

L1:(b) Demonstration Project. This solicitation is issued pursuant to the Demonstration Project for Contractors Employing

L0:Persons with Disabilities. The purpose of the Demonstration Project is to provide defense contracting opportunities for

L0:entities that employ severely disabled individuals. To be eligible for award, an offeror must be an eligible contractor as

L0:defined in paragraph (a) of this provision.

L1:(c) Representation. The offeror represents that it [] is [] is not an eligible contractor as defined in paragraph (a) of this

L0:provision.

L0:(End of provision)

252.226-7003 Drug-Free Work Force

Status: active

L0:252.226-7003 Drug-Free Work Force.

L0:As prescribed in 226.570-2, use the following clause:

L0:DRUG-FREE WORK FORCE (AUG 2024)

L1:(a) Definitions. As used in this clause?

L0:Employee in a sensitive position means an employee who has been granted access to classified information; or employees

L0:in other positions that the Contractor determines involve national security, health or safety, or functions other than the

L0:foregoing requiring a high degree of trust and confidence.

L0:Illegal drugs means controlled substances included in Schedules I and II, as defined by section 802(6) of title 21 of the

L0:United States Code, the possession of which is unlawful under chapter 13 of that title. The term "illegal drugs" does not

L0:mean the use of a controlled substance pursuant to a valid prescription or other uses authorized by law.

L1:(b) The Contractor agrees to institute and maintain a program for achieving the objective of a drug-free work force. While

L0:this clause defines criteria for such a program, contractors are encouraged to implement alternative approaches comparable

L0:to the criteria in paragraph (c) that are designed to achieve the objectives of this clause.

L1:(c) Contractor programs shall include the following, or appropriate alternatives:

L1:(1) Employee assistance programs emphasizing high level direction, education, counseling, rehabilitation, and coordination

L0:with available community resources;

L1:(2) Supervisory training to assist in identifying and addressing illegal drug use by Contractor employees;

L1:(3) Provision for self-referrals as well as supervisory referrals to treatment with maximum respect for individual

L0:confidentiality consistent with safety and security issues;

L1:(4) Provision for identifying illegal drug users, including testing on a controlled and carefully monitored basis. Employee

L0:drug testing programs shall be established taking account of the following:

L1:(i) The Contractor shall establish a program that provides for testing for the use of illegal drugs by employees in sensitive

L0:positions. The extent of and criteria for such testing shall be determined by the Contractor based on considerations that

L0:include the nature of the work being performed under the contract, the employee's duties, the efficient use of Contractor

L0:resources, and the risks to health, safety, or national security that could result from the failure of an employee adequately to

L0:discharge his or her position.

L1:(ii) In addition, the Contractor may establish a program for employee drug testing?

L1:(A) When there is a reasonable suspicion that an employee uses illegal drugs; or

L1:(B) When an employee has been involved in an accident or unsafe practice;

L1:(C) As part of or as a follow-up to counseling or rehabilitation for illegal drug use;

L1:(D) As part of a voluntary employee drug testing program.

L1:(iii) The Contractor may establish a program to test applicants for employment for illegal drug use.

L1:(iv) For the purpose of administering this clause, testing for illegal drugs may be limited to those substances for which

L0:testing is prescribed by section 2.1 of subpart B of the ?Mandatory Guidelines for Federal Workplace Drug Testing Programs? (53 FR 11980 (April 11 1988)), issued by the Department of Health and Human Services.

L1:(d) Contractors shall adopt appropriate personnel procedures to deal with employees who are found to be using drugs

L0:illegally. Contractors shall not allow any employee to remain on duty or perform in a sensitive position who is found to use

L0:illegal drugs until such times as the Contractor, in accordance with procedures established by the Contractor, determines

L0:that the employee may perform in such a position.

L1:(e) The provisions of this clause pertaining to drug testing program shall not apply to the extent they are inconsistent with

L0:state or local law, or with an existing collective bargaining agreement; provided that with respect to the latter, the

L0:Contractor agrees that those issues that are in conflict will be a subject of negotiation at the next collective bargaining

L0:session.

L0:(End of clause)

252.227-7000 Non-Estoppel

Status: active

L0:252.227-7000 Non-Estoppel.

L0:As prescribed at 227.7009-1 , insert the following clause in patent releases, license agreements, and assignments:

L0:NON-ESTOPPEL (OCT 1966)

L0:The Government reserves the right at any time to contest the enforceability, validity, scope of, or the title to any patent or

L0:patent application herein licensed without waiving or forfeiting any right under this contract.

L0:(End of clause)

252.227-7001 Release of Past Infringement

Status: active

L0:252.227-7001 Release of Past Infringement.

L0:As prescribed at 227.7009-2 (a), insert the following clause in patent releases, license agreements, and assignments:

L0:RELEASE OF PAST INFRINGEMENT (SEP 2019)

L0:The Contractor hereby releases each and every claim and demand which the Contractor now has or may hereafter have

L0:against the Government for the manufacture or use by or for the Government prior to the effective date of this contract, of

L0:any inventions covered by (i) any of the patents and applications for patent identified in this contract, and (ii) any other

L0:patent or application for patent owned or hereafter acquired by the Contractor, insofar as and only to the extent that such

L0:other patent or patent application covers the manufacture, use, or disposition of [description of subject matter].*

L0:(End of clause)

L0:*Bracketed portions of the clause may be omitted when not appropriate or not encompassed by the release as negotiated.

252.227-7002 Readjustment of Payments

Status: active

L0:252.227-7002 Readjustment of Payments.

L0:As prescribed at 227.7009-2 (b), insert the following clause in patent releases, license agreements, and assignments:

L0:READJUSTMENT OF PAYMENTS (SEP 2019)

L1:(a) If any license, under substantially the same patents and authorizing substantially the same acts which are authorized

L0:under this contract, has been or shall hereafter be granted within the United States, on royalty terms which are more

L0:favorable to the licensee than those contained herein, the Government shall be entitled to the benefit of such more

L0:favorable terms with respect to all royalties accruing under this contract after the date such more favorable terms become

L0:effective, and the Contractor shall promptly notify the Contracting Officer in writing of the granting of such more favorable

L0:terms.

L1:(b) In the event any claim of any patent hereby licensed is construed or held invalid by decision of a court of competent

L0:jurisdiction, the requirement to pay royalties under this contract insofar as its arises solely by reason of such claim, and any

L0:other claim not materially different therefrom, shall be interpreted in conformity with the court's decision as to the scope of

L0:validity of such claims; Provided, however, that in the event such decision is modified or reversed on appeal, the

L0:requirement to pay royalties under this contract shall be interpreted in conformity with the final decision rendered on such

L0:appeal.

L0:(End of clause)

252.227-7003 Termination

Status: active

L0:252.227-7003 Termination.

L0:As prescribed at 227.7009-2 (c), insert the following clause in patent releases, license agreements, and assignments:

L0:TERMINATION (AUG 1984)

L0:Notwithstanding any other provision of this contract, the Government shall have the right to terminate the within license, in

L0:whole or in part, by giving the Contractor not less than thirty (30) days notice in writing of the date such termination

is to

L0:be effective; provided, however, that such termination shall not affect the obligation of the Government to pay royalties

L0:which have accrued prior to the effective date of such termination.

L0:(End of clause)

252.227-7004 License Grant

Status: active

L0:252.227-7004 License Grant.

L0:As prescribed at 227.7009-3 (a), insert the following clause in patent releases, license agreements, and assignments:

L0:LICENSE GRANT (AUG 1984)

L1:(a) The Contractor hereby grants to the Government an irrevocable, nonexclusive, nontransferable, and paid up license

L0:under the following patents, applications for patent, and any patents granted on such applications, and under any patents

L0:which may issue as the result of any reissue, division or continuation thereof, to practice by or cause to be practiced for the

L0:Government throughout the world, any and all of the inventions thereunder, in the manufacture and use of any article or

L0:material, in the use of any method or process, and in the disposition of any article or material in accordance with law:

L0:U.S. Patent No. _____

L0:Date _____

L0:Application Serial No. _____

L0:Filing Date _____

L0:Together with corresponding foreign patents and foreign applications for patents, insofar as the Contractor has the right to

L0:grant licenses thereunder without incurring an obligation to pay royalties or other compensation to others solely on account

L0:of such grant.

L1:(b) No rights are granted or implied by the agreement under any other patents other than as provided above or by operation

L0:of law.

L1:(c) Nothing contained herein shall limit any rights which the Government may have obtained by virtue of prior contracts or

L0:by operation of law or otherwise.

L0:(End of clause)

252.227-7005 License Term

Status: active

L0:252.227-7005 License Term.

L0:As prescribed at 227.7009-3 (b), insert one of the following clauses in patent releases, license agreements, and assignments:

L0:LICENSE TERM (OCT 2001)

L0:ALTERNATE I (AUG 1984)

L0:The license hereby granted shall remain in full force and effect for the full term of each of the patents referred to in the

L0:?"License Grant?" clause of this contract and any and all patents hereafter issued on applications for patent referred to in such

L0:?"License Grant?" clause.

L0:ALTERNATE II (OCT 2001)

L0:The license hereby granted shall terminate on the _____ day of _____, ____; Provided, however, that said

L0:termination shall be without prejudice to the completion of any contract entered into by the Government prior to said date

L0:of termination or to the use or disposition thereafter of any articles or materials manufactured by or for the Government

L0:under this license.

252.227-7006 License Grant?-Running Royalty

Status: active

L0:252.227-7006 License Grant?-Running Royalty.

L0:As prescribed at 227.7009-4 (a), insert the following clause in patent releases, license agreements, and assignments:

L0:LICENSE GRANT?RUNNING ROYALTY (AUG 1984)

L1:(a) The Contractor hereby grants to the Government, as represented by the Secretary of _____, an irrevocable,

L0:nonexclusive, nontransferable license under the following patents, applications for patent, and any patents granted on such

L0:applications, and under any patents which may issue as the result of any reissue, division, or continuation thereunder to

L0:practice by or cause to be practiced for the Department of _____, throughout the world, any and all of the L0:inventions thereunder in the manufacture and use of any article or material, in the use of any method or process, and in the

L0:disposition of any article or material in accordance with law:

L0:U.S. Patent No. _____

L0:Date _____

L0:Application Serial No. _____

L0:Filing Date _____

L0:Together with corresponding foreign patents and foreign applications for patent, insofar as the Contractor has the right to

L0:grant licenses thereunder without incurring an obligation to pay royalties or other compensation to others solely on account

L0:of such grant.

L1:(b) No rights are granted or implied by the agreement under any other patents other than as provided above or by operation

L0:of law.

L1:(c) Nothing contained herein shall limit any rights which the Government may have obtained by virtue of prior contracts or

L0:by operation of law or otherwise.

L0:(End of clause)

252.227-7007 License Term?Running Royalty

Status: active

L0:252.227-7007 License Term?Running Royalty.

L0:As prescribed at 227.7009-4 (b), insert the following clause in patent releases, license agreements, and assignments:

L0:LICENSE TERM?RUNNING ROYALTY (AUG 1984)

L0:The license hereby granted shall remain in full force and effect for the full term of each of the patents referred to in the

L0:?License Grant? clause of this contract and any and all patents hereafter issued on applications for patent referred to above

L0:unless sooner terminated as elsewhere herein provided.

L0:(End of clause)

252.227-7008 Computation of Royalties

Status: active

L0:252.227-7008 Computation of Royalties.

L0:As prescribed at 227.7009 - 4(c), insert the following clause in patent releases, license agreements, and assignments:

L0:COMPUTATION OF ROYALTIES (AUG 1984)

L0:Subject to the conditions hereinafter stated, royalties shall accrue to the Contractor under this agreement on all articles or

L0:materials embodying, or manufactured by the use of, any or all inventions claimed under any unexpired United States

L0:patent licensed herein, upon acceptance thereof by the Department of _____, at the rate of ____ percent of the net

L0:selling price of such articles or materials (amount) per (name of item) * whether manufactured by the Government or

L0:procured under a fixed price contract, and at the rate of (amount) per (name of item) acquired or manufactured by a

L0:Contractor performing under a cost-reimbursement contract. With respect to such articles or materials made by the

L0:Department of _____, ?net selling price,? as used in this paragraph, means the actual cost of direct labor and

L0:materials without allowance for overhead and supervision.

L0:(End of clause)

L0:*Use bracketed matter as appropriate.

252.227-7009 Reporting and Payment of Royalties

Status: active

L0:252.227-7009 Reporting and Payment of Royalties.

L0:As prescribed at 227.7009-4 (d), insert the following clause in patent releases, license agreements, and assignments:

L0:REPORTING AND PAYMENT OF ROYALTIES (SEP 2019)

L1:(a) The [insert the Contracting Officer or the name of the designated office, in accordance with agency procedures] shall,

L0:on or before the sixtieth (60th) day next following the end of each yearly* period ending _____ during
L0:which royalties have accrued under this license, deliver to the Contractor, subject to military security regulations, a report

L0:in writing furnishing necessary information relative to royalties which have accrued under this contract.

L1:(b) Royalties which have accrued under this contract during the yearly* period ending _____ shall be paid to

L0:the Contractor (if appropriations therefor are available or become available) within sixty (60) days next following the
L0:receipt of a voucher from the Contractor submitted in accordance with the report referred to in (a) of this clause;
Provided,

L0:that the Government shall not be obligated to pay, in respect of any such yearly period, on account of the combined
L0:royalties accruing under this contract directly and under any separate licenses granted pursuant to the ?License to
Other

L0:Government Agencies? clause (if any) of this contract, an amount greater than _____ dollars (\$_____), and
if such

L0:combined royalties exceed the said maximum yearly obligation, each department or agency shall pay a pro rata
share of the

L0:said maximum yearly obligation as determined by the proportion its accrued royalties bear to the combined total of
accrued

L0:royalties.

L0:(End of clause)

L0:*The frequency, date, and length of reporting periods should be selected as appropriate to the particular
circumstances of

L0:the contract.

252.227-7010 License to Other Government Agencies

Status: active

L0:252.227-7010 License to Other Government Agencies.

L0:As prescribed at 227.7009-4 (e), insert the following clause in patent releases, license agreements, and assignments:

L0:LICENSE TO OTHER GOVERNMENT AGENCIES (AUG 1984)

L0:The Contractor hereby agrees to grant a separate license under the patents, applications for patents, and improvements

L0:referred to in the ?License Grant? clause of this contract, on the same terms and conditions as appear in this license
L0:contract, to any other department or agency of the Government at any time on receipt of a written request for such a

license

L0:from such department or agency; Provided, however, that as to royalties which accrue under such separate licenses, reports

L0:and payments shall be made directly to the Contractor by each such other department or agency pursuant to the terms of

L0:such separate licenses. The Contractor shall notify the Licensee hereunder promptly upon receipt of any request for license

L0:hereunder.

L0:(End of clause)

252.227-7011 Assignments

Status: active

L0:252.227-7011 Assignments.

L0:As prescribed at 227.7010 , insert the following clause in assignments.

L0:ASSIGNMENT (AUG 1984)

L0:The Contractor hereby conveys to the Government, as represented by the Secretary of _____, the entire right, title,

L0:and interest in and to the following patents (and applications for patent), in and to the inventions thereof, and in and to all

L0:claims and demands whatsoever for infringement thereof heretofore accrued, the same to be held and enjoyed by the

L0:Government through its duly appointed representatives to the full end of the term of said patents (and to the full end of the

L0:terms of all patents which may be granted upon said applications for patent, or upon any division, continuation-in-part or

L0:continuation thereof):

L0:U.S. Patent No.

L0:Date

L0:Name of Inventor

L0:U.S. Application Serial No.

L0:Filing Date

L0:Name of Inventor

L0:Together with corresponding foreign patents and applications for patent insofar as the Contractor has the right to assign the

L0:same.

L0:(End of clause)

252.227-7012 Patent License and Release Contract

Status: active

L0:252.227-7012 Patent License and Release Contract.

L0:As prescribed at 227.7012 , insert the following clause in patent releases, license agreements, and assignments:

L0:_____ (Contract No.)

L0:PATENT LICENSE AND RELEASE CONTRACT (DEC 2022)

L0:THIS CONTRACT is effective as of the ____ day of [month, year], between the UNITED STATES OF AMERICA

L0:(hereinafter called the Government), and _____ (hereinafter called the Contractor), (a

L0:corporation organized and existing under the laws of the State of _____), (a partnership consisting of

L0:_____), (an individual trading as _____), of the City of

L0:_____, in the State of _____.

L0:WHEREAS, the Contractor warrants that it has the right to grant the within license and release, and the Government

L0:desires to procure the same, and

L0:WHEREAS, this contract is authorized by law, including 10 U.S.C. 3793.

L0:NOW THEREFORE, in consideration of the grant, release and agreements hereinafter recited, the parties have agreed as

L0:follows:

L0:ARTICLE I. License Grant.*

L0:(Insert the clause at 252.227-7004 for a paid up license, or the clause at 252.227-7006 for a license on a running royalty

L0:basis.)

L0:ARTICLE 2. License Term.*

L0:(Insert the appropriate alternative clause at 252.227-7005 for a paid up license, or the clause at 252.227-7007 for a license

L0:on a running royalty basis.)

L0:ARTICLE 3. Release of Past Infringement.

L0:(Insert the clause at 252.227-7001 .)

L0:ARTICLE 4. Non-Estoppel.

L0:(Insert the clause at 252.227-7000 .)

L0:ARTICLE 5. Payment.

L0:The Contractor shall be paid the sum of _____ Dollars (\$_____) in full compensation for the rights herein

L0:granted and agreed to be granted. (For a license on a running royalty basis, insert the clause at 252.227-7006 in accordance

L0:with the instructions therein, and also the clause as specified at 252.227-7002 and 252.227-7009 and 252.227-7010 .)

L0:ARTICLE 6. Covenant Against Contingent Fees.

L0:(Insert the clause at FAR 52.203-5.)

L0:ARTICLE 7. Assignment of Claims.

L0:(Insert the clause at FAR 52.232-23.)

L0:ARTICLE 8. Gratuities.

L0:(Insert the clause at FAR 52.203-3.)

L0:ARTICLE 9. Disputes.

L0:(Insert the clause at FAR 52.233-1.)

L0:ARTICLE 10. Successors and Assignees.

L0:This Agreement shall be binding upon the Contractor, its successors** and assignees, but nothing contained in this Article

L0:shall authorize an assignment of any claim against the Government otherwise than as permitted by law.

L0:IN WITNESS WHEREOF, the parties hereto have executed this contract.

L0:THE UNITED STATES OF AMERICA

L0:By

L0>Date

L0:(Signature and Title of Contractor

L0:Representative) _____

L0:By

L0>Date

L0:*If only a release is procured, delete this article; if an assignment is procured, use the clause at 252.227-7011 .

L0:**When the Contractor is an individual, change ?successors? to ?heirs?; if a partnership, modify appropriately.

L0:(End of clause)

252.227-7014 Rights in Other Than Commercial Computer Software and Other Than Commercial Computer

Status: active

L0:252.227-7014 Rights in Other Than Commercial Computer Software and Other Than Commercial Computer
L0:Software Documentation.

L0:As prescribed in 227.7203-6 (a)(1), use the following clause:

**L0:RIGHTS IN OTHER THAN COMMERCIAL COMPUTER SOFTWARE AND OTHER THAN COMMERCIAL
L0:COMPUTER SOFTWARE DOCUMENTATION (AUG 2025)**

L1:(a) Definitions. As used in this clause?

L0:?Commercial computer software? means software developed or regularly used for non-governmental purposes which?

L1:(1) Has been sold, leased, or licensed to the public;

L1:(2) Has been offered for sale, lease, or license to the public;

L1:(3) Has not been offered, sold, leased, or licensed to the public but will be available for commercial sale, lease, or license in

L0:time to satisfy the delivery requirements of this contract; or

L1:(4) Satisfies a criterion expressed in paragraph (1), (2), or (3) of this definition and would require only minor modification

L0:to meet the requirements of this contract.

L0:?Computer database? means a collection of recorded data in a form capable of being processed by a computer.
The term

L0:does not include computer software.

L0:?Computer program? means a set of instructions, rules, or routines, recorded in a form that is capable of causing a
L0:computer to perform a specific operation or series of operations.

L0:?Computer software? means computer programs, source code, source code listings, object code listings, design details,

L0:algorithms, processes, flow charts, formulae, and related material that would enable the software to be reproduced,
L0:recreated, or recompiled. Computer software does not include computer databases or computer software documentation.

L0:?Computer software documentation? means owner's manuals, user's manuals, installation instructions, operating
L0:instructions, and other similar items, regardless of storage medium, that explain the capabilities of the computer software or

L0:provide instructions for using the software.

L0:"Covered Government support contractor" means a contractor (other than a litigation support contractor covered by

252.227-7015 Technical Data - Commercial Products and Commercial Services

Status: active

L0:252.227-7015 Technical Data - Commercial Products and Commercial Services.

L0:As prescribed in 227.7102-4 (a)(1), use the following clause:

L0:TECHNICAL DATA?COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES (JAN 2025)

L1:(a) Definitions. As used in this clause?

L0:?Commercial product and commercial service? includes commercial components and commercial processes but does not

L0:include commercial computer software.

L0:?Covered Government support contractor? means a contractor (other than a litigation support contractor covered by

252.227-7016 Rights in Bid or Proposal Information

Status: active

L0:252.227-7016 Rights in Bid or Proposal Information.

L0:As prescribed in 227.7103-6(e)(1), 227.7104 -4(b)(1), or 227.7203-6(b), use the following clause:

L0:RIGHTS IN BID OR PROPOSAL INFORMATION (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?Computer software? is defined in?

L1:(1) The 252.227-7014, Rights in Other Than Commercial Computer Software and Other Than Commercial Computer Software Documentation, clause of this contract; or

L1:(2) If this is a contract awarded under the Small Business Innovation Research Program or Small Business Technology

L0:Transfer Program, the 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software?Small

L0:Business Innovation Research Program and Small Business Technology Transfer Program, clause of this contract.

L0:?Technical data? is defined in?

L1:(1) The 252.227-7013, Rights in Technical Data? Other Than Commercial Products and Commercial Services, clause of

L0:this contract; or

L1:(2) If this is a contract awarded under the Small Business Innovation Research Program or Small Business Technology

L0:Transfer Program, the 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software?Small

L0:Business Innovation Research Program and Small Business Technology Transfer Program, clause of this contract.

L1:(b) Government rights prior to contract award. By submission of its offer, the Offeror agrees that the Government?

L1:(1) May reproduce the bid or proposal, or any portions thereof, to the extent necessary to evaluate the offer.

L1:(2) Except as provided in paragraph (d) of this clause, shall use information contained in the bid or proposal only for L0:evaluational purposes and shall not disclose, directly or indirectly, such information to any person including potential

L0:evaluators, unless that person has been authorized by the head of the agency, his or her designee, or the Contracting Officer

L0:to receive such information.

L1:(c) Government rights subsequent to contract award. The Contractor agrees?

L1:(1) Except as provided in paragraphs (c)(2), (d), and (e) of this clause, the Government shall have the rights to use, modify,

L0:reproduce, release, perform, display, or disclose information contained in the Contractor's bid or proposal within the L0:Government. The Government shall not release, perform, display, or disclose such information outside the Government

L0:without the Contractor's written permission.

L1:(2) The Government's right to use, modify, reproduce, release, perform, display, or disclose information that is technical

L0:data or computer software required to be delivered under this contract are determined by the Defense Federal Acquisition

L0:Regulation Supplement (DFARS) 252.227-7013, Rights in Technical Data?Other Than Commercial Products and

L0:Commercial Services; DFARS 252.227-7014, Rights in Other Than Commercial Computer Software and Other Than L0:Commercial Computer Software Documentation; or DFARS 252.227-7018, Rights in Other Than Commercial Technical

L0:Data and Computer Software?Small Business Innovation Research Program and Small Business Technology Transfer

L0:Program, clause of this contract.

L1:(d) Government-furnished information. The Government's rights with respect to technical data or computer software

L0:contained in the Contractor's bid or proposal that were provided to the Contractor by the Government are subject only to

L0:restrictions on use, modification, reproduction, release, performance, display, or disclosure, if any, imposed by the L0:developer or licensor of such data or software.

L1:(e) Information available without restrictions. The Government's rights to use, modify, reproduce, release, perform,

L0:display, or, disclose information contained in a bid or proposal, including technical data or computer software, and to L0:permit others to do so, shall not be restricted in any manner if such information has been released or disclosed to the

L0:Government or to other persons without restrictions other than a release or disclosure resulting from the sale, transfer, or

L0:other assignment of interest in the information to another party or the sale or transfer of some or all of a business entity or

L0:its assets to another party.

L1:(f) Flowdown. The Contractor shall include this clause in all subcontracts or similar contractual instruments and require its

L0:subcontractors or suppliers to do so without alteration, except to identify the parties.

L0:(End of clause)

252.227-7017 Identification and Assertion of Use, Release, or Disclosure Restrictions

Status: active

L0:252.227-7017 Identification and Assertion of Use, Release, or Disclosure Restrictions.

L0:As prescribed in 227.7103-3(b), 227.7104 -4(b)(2), or 227.7203-3(a), use the following provision:

L0:IDENTIFICATION AND ASSERTION OF USE, RELEASE, OR DISCLOSURE RESTRICTIONS (JAN 2025)

L1:(a) Definitions. As used in this provision?

L0:Computer software? is defined in?

L1:(1) The 252.227-7014, Rights in Other Than Commercial Computer Software and Other Than Commercial Computer

L0:Software Documentation, clause of this solicitation; or

L1:(2) If this solicitation contemplates a contract under the Small Business Innovation Research Program or Small Business

L0:Technology Transfer Program, the 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software

L0:Small Business Innovation Research Program and Small Business Technology Transfer Program, clause of this

L0:solicitation.

L0:SBIR/STTR data? is defined in the 252.227-7018, Rights in Other Than Commercial Technical Data and Computer

L0:Software? Small Business Innovation Research Program and Small Business Technology Transfer Program, clause of this

L0:solicitation.

L0:Technical data? is defined in?

L1:(1) The 252.227-7013, Rights in Technical Data? Other Than Commercial Products and Commercial Services, clause of

L0:this solicitation; or

L1:(2) If this solicitation contemplates a contract under the Small Business Innovation Research Program or Small Business

L0:Technology Transfer Program, the 252.227-7018, Rights in Other Than Commercial Technical Data and Computer

L0:Software? Small Business Innovation Research Program and Small Business Technology Transfer Program, clause of this

L0:solicitation.

L1:(b) The identification and assertion requirements in this provision apply only to technical data, including computer

L0:software documentation, or computer software to be delivered with other than unlimited rights. For contracts to be awarded

L0:under the Small Business Innovation Research (SBIR) Program or Small Business Technology Transfer (STTR) Program,

L0:these requirements apply to SBIR/STTR data that will be generated under the resulting contract and will be delivered with

L0:SBIR/STTR data rights and to any other data that will be delivered with other than unlimited rights. Notification and

L0:identification are not required for restrictions based solely on copyright.

L1:(c) Offers submitted in response to this solicitation shall identify, to the extent known at the time an offer is submitted to

L0:the Government, the technical data or computer software that the Offeror, its subcontractors or suppliers, or potential

L0:subcontractors or suppliers, assert should be furnished to the Government with restrictions on use, release, or disclosure.

L1:(d) The Offeror's assertions, including the assertions of its subcontractors or suppliers or potential subcontractors or

L0:suppliers[,] shall be submitted as an attachment to its offer in the following format, dated and signed by an official

L0:authorized to contractually obligate the Offeror:

L0:Identification and Assertion of Restrictions on the Government's Use, Release, or Disclosure of Technical Data or

L0:Computer Software.

L0:The Offeror asserts for itself, or the persons identified below, that the Government's rights to use, release, or disclose the

L0:following technical data or computer software should be restricted:

L0:Technical Data or Computer

L0:Software to be Furnished

L0:With Restrictions* [1]

L1:(LIST)*** [5]**

L0:[2]

L0:Asserted Rights

L0:Category*** [3]

L0:Name of Person

L0:Asserting

L0:Restrictions**** [4]

L1:(LIST)

L1:(LIST)

L1:(LIST)

L0:Basis for Assertion**

L0:* [1] For technical data (other than computer software documentation) pertaining to items, components, or processes developed at private expense, identify both the deliverable technical data and each such item, component, or process. For

L0:computer software or computer software documentation identify the software or documentation.

L0:** [2] Generally, development at private expense, either exclusively or partially, is the only basis for asserting restrictions.

L0:For technical data, other than computer software documentation, development refers to development of the item,

L0:component, or process to which the data pertain. The Government's rights in computer software documentation generally

L0:may not be restricted. For computer software, development refers to the software. Indicate whether development was

L0:accomplished exclusively or partially at private expense. If development was not accomplished at private expense, or for

L0:computer software documentation, enter the specific basis for asserting restrictions.

L0:*** [3] Enter asserted rights category (e.g., government purpose license rights from a prior contract, rights in SBIR data

L0:generated under another contract, limited, restricted, or government purpose rights under this or a prior contract, or

L0:specially negotiated licenses).

L0:**** [4] Corporation, individual, or other person, as appropriate.

L0:***** [5] Enter ?none? when all data or software will be submitted without restrictions.

L0:Date

L0: _____

L0:Printed Name and Title

L0: _____

L0: _____

L0:Signature

L0: _____

L0:(End of identification and assertion)

L1:(e) An offeror's failure to submit, complete, or sign the notification and identification required by paragraph (d) of this L0:provision with its offer may render the offer ineligible for award.

L1:(f) If the Offeror is awarded a contract, the assertions identified in paragraph (d) of this provision shall be listed in an L0:attachment to that contract. Upon request by the Contracting Officer, the Offeror shall provide sufficient information to

L0:enable the Contracting Officer to evaluate any listed assertion.

L0:(End of provision)

252.227-7018 Rights in Other Than Commercial Technical Data and Computer Software?Small Business

Status: active

L0:252.227-7018 Rights in Other Than Commercial Technical Data and Computer Software?Small Business

L0:Innovation Research Program and Small Business Technology Transfer Program.

L0:As prescribed in 227.7104-4(a)(1), use the following clause:

L0:RIGHTS IN OTHER THAN COMMERCIAL TECHNICAL DATA AND COMPUTER SOFTWARE?SMALL

L0:BUSINESS INNOVATION RESEARCH PROGRAM AND SMALL BUSINESS TECHNOLOGY TRANSFER

L0:PROGRAM (AUG 2025)

L1:(a) Definitions. As used in this clause ?Commercial computer software? means software developed or regularly used for nongovernmental purposes which?

L1:(1) Has been sold, leased, or licensed to the public;

L1:(2) Has been offered for sale, lease, or license to the public;

L1:(3) Has not been offered, sold, leased, or licensed to the public but will be available for commercial sale, lease, or license in

L0:time to satisfy the delivery requirements of this contract; or

L1:(4) Satisfies a criterion expressed in paragraph (1), (2), or (3) of this definition and would require only minor modification

L0:to meet the requirements of this contract.

L0:?Computer database? means a collection of recorded data in a form capable of being processed by a computer.

The term

L0:does not include computer software.

L0:?Computer program? means a set of instructions, rules, or routines, recorded in a form that is capable of causing a

L0:computer to perform a specific operation or series of operations.

L0:?Computer software? means computer programs, source code, source code listings, object code listings, design details,

L0:algorithms, processes, flow charts, formulae, and related material that would enable the software to be reproduced,

L0:recreated, or recompiled. Computer software does not include computer databases or computer software documentation.

L0:?Computer software documentation? means owner?s manuals, user?s manuals, installation instructions, operating

L0:instructions, and other similar items, regardless of storage medium, that explain the capabilities of the computer software or

L0:provide instructions for using the software.

L0:Covered Government support contractor? means a contractor (other than a litigation support contractor covered by L0:252.204-7014) under a contract, the primary purpose of which is to furnish independent and impartial advice or technical

L0:assistance directly to the Government in support of the Government?s management and oversight of a program or effort

L0:(rather than to directly furnish an end item or service to accomplish a program or effort), provided that the contractor?

L1:(1) Is not affiliated with the prime contractor or a first-tier subcontractor on the program or effort, or with any direct L0:competitor of such prime contractor or any such first-tier subcontractor in furnishing end items or services of the type L0:developed or produced on the program or effort; and

L1:(2) Receives access to the technical data or computer software for performance of a Government contract that contains the

L0:clause at 252.227-7025, Limitations on the Use or Disclosure of Government-Furnished Information Marked with L0:Restrictive Legends.

L0:Detailed manufacturing or process data? means technical data that describe the steps, sequences, and conditions of

L0:manufacturing, processing or assembly used by the manufacturer to produce an item or component or to perform a process.

L0:Developed? means?

L1:(1) (Applicable to technical data other than computer software documentation.) An item, component, or process exists and

L0:is workable. Thus, the item or component must have been constructed or the process practiced. Workability is generally

L0:established when the item, component, or process has been analyzed or tested sufficiently to demonstrate to reasonable

L0:people skilled in the applicable art that there is a high probability that it will operate as intended. Whether, how much, and

L0:what type of analysis or testing is required to establish workability depends on the nature of the item, component, or L0:process, and the state of the art. To be considered ?developed,? the item, component, or process need not be at the stage

L0:where it could be offered for sale or sold on the commercial market, nor must the item, component or process be actually

L0:reduced to practice within the meaning of Title 35 of the United States Code;

L1:(2) A computer program has been successfully operated in a computer and tested to the extent sufficient to demonstrate to

L0:reasonable persons skilled in the art that the program can reasonably be expected to perform its intended purpose;

L1:(3) Computer software, other than computer programs, has been tested or analyzed to the extent sufficient to demonstrate

L0:to reasonable persons skilled in the art that the software can reasonably be expected to perform its intended purpose; or

L1:(4) Computer software documentation required to be delivered under a contract has been written, in any medium, in L0:sufficient detail to comply with requirements under that contract.

L0:Developed exclusively at private expense? means development was accomplished entirely with costs charged to indirect

L0:cost pools, costs not allocated to a government contract, or any combination thereof.

L1:(1) Private expense determinations should be made at the lowest practicable level.

L1:(2) Under fixed-price contracts, when total costs are greater than the firm-fixed-price or ceiling price of the contract, the

L0:additional development costs necessary to complete development shall not be considered when determining whether

L0:development was at government, private, or mixed expense.

L0:?Developed exclusively with government funds? means development was not accomplished exclusively or partially at

L0:private expense.

L0:?Developed with mixed funding? means development was accomplished partially with costs charged to indirect cost pools

L0:and/or costs not allocated to a government contract, and partially with costs charged directly to a government contract.

L0:?Form, fit, and function data? means technical data that describe the required overall physical, functional, and performance

L0:characteristics (along with the qualification requirements, if applicable) of an item, component, or process to the extent

L0:necessary to permit identification of physically and functionally interchangeable items.

L0:?Generated? means, with respect to technical data or computer software, first created in the performance of this contract.

L0:?Government purpose? means any activity in which the United States Government is a party, including cooperative L0:agreements with international or multi-national defense organizations or sales or transfers by the United States Government

L0:to foreign governments or international organizations. Government purposes include competitive procurement, but do not

L0:include the rights to use, modify, reproduce, release, perform, display, or disclose technical data or computer software for

L0:commercial purposes or authorize others to do so.

L0:?Government purpose rights? means the rights to?

L1:(1) Use, modify, reproduce, release, perform, display, or disclose technical data or computer software within the

L0:Government without restriction; and

L1:(2) Release or disclose technical data or computer software outside the Government and authorize persons to whom release

L0:or disclosure has been made to use, modify, reproduce, release, perform, display, or disclose that data for United States

L0:Government purposes.

L0:?Limited rights? means the rights to use, modify, reproduce, release, perform, display, or disclose technical data, in whole

L0:or in part, within the Government. The Government may not, without the written permission of the party asserting limited

L0:rights, release or disclose the technical data outside the Government, use the technical data for manufacture, or authorize

L0:the technical data to be used by another party, except that the Government may reproduce, release, or disclose such data or

L0:authorize the use or reproduction of the data by persons outside the Government if
<https://www.acquisition.gov/node/36356/printable/print>

L1:(1) The reproduction, release, disclosure, or use is (i) Necessary for emergency repair and overhaul; or

L1:(ii) A release or disclosure to (A) A covered Government support contractor in performance of its covered Government support contracts for use,

L0:modification, reproduction, performance, display, or release or disclosure to a person authorized to receive limited rights

L0:technical data; or

L1:(B) A foreign government, of technical data other than detailed manufacturing or process data, when use of such data by

L0:the foreign government is in the interest of the Government and is required for evaluational or informational purposes;

L1:(2) The recipient of the technical data is subject to a prohibition on the further reproduction, release, disclosure, or use of

L0:the technical data; and

L1:(3) The Contractor or subcontractor asserting the restriction is notified of such reproduction, release, disclosure, or use.

L0:Minor modification? means a modification that does not significantly alter the nongovernmental function or purpose of

L0:computer software or is of the type customarily provided in the commercial marketplace.

L0:Other than commercial computer software? means software that does not qualify as commercial computer software under

L0:the definition of ?commercial computer software? of this clause.

L0:Restricted rights? apply only to other than commercial computer software and mean the Government's rights to (1) Use a computer program with one computer at one time. The program may not be accessed by more than one terminal

L0:or central processing unit or time shared unless otherwise permitted by this contract;

L1:(2) Transfer a computer program to another Government agency without the further permission of the Contractor if the

L0:transferor destroys all copies of the program and related computer software documentation in its possession and notifies the

L0:licensor of the transfer. Transferred programs remain subject to the provisions of this clause;

L1:(3) Make a reasonable number of copies of the computer software required for the purposes of safekeeping (archive),

L0:backup, modification, or other activities authorized in paragraphs (1), (2), and (4) through (7) of this definition;

L1:(4) Modify computer software provided that the Government may (i) Use the modified software only as provided in paragraphs (1) and (3) of this definition; and

L1:(ii) Not release or disclose the modified software except as provided in paragraphs (2), (5), (6), and (7) of this definition;

L1:(5) Use, and permit contractors or subcontractors performing service contracts (see 37.101 of the Federal Acquisition

L0:Regulation) in support of this or a related contract to use computer software to diagnose and correct deficiencies in a

L0:computer program, to modify computer software to enable a computer program to be combined with, adapted to, or merged

L0:with other computer programs or when necessary to respond to urgent tactical situations, provided that (i) The

Government notifies the party which has granted restricted rights that any such release or disclosure to particular L0:contractors or subcontractors was made;

L1:(ii) Such contractors or subcontractors are subject to the nondisclosure agreement at 227.7103-7 of the Defense Federal

L0:Acquisition Regulation Supplement or are Government contractors receiving access to the software for performance of a

L0:Government contract that contains the clause at 252.227-7025, Limitations on the Use or Disclosure of GovernmentFurnished Information Marked with Restrictive Legends;

L1:(iii) The Government shall not permit the recipient to decompile, disassemble, or reverse engineer the software, or use

L0:software decompiled, disassembled, or reverse engineered by the Government pursuant to paragraph (4) of this definition,

L0:for any other purpose; and

L1:(iv) Such use is subject to the limitations in paragraphs (1) through (4) of this definition;

L1:(6) Use, and permit contractors or subcontractors performing emergency repairs or overhaul of items or components of

L0:items procured under this or a related contract to use the computer software when necessary to perform the emergency

L0:repairs or overhaul, or to modify the computer software to reflect the repairs or overhaul made, provided that (i) The intended recipient is subject to the nondisclosure agreement at 227.7103-7 or is a Government contractor receiving

L0:access to the software for performance of a Government contract that contains the clause at 252.227-7025, Limitations on

L0:the Use or Disclosure of Government Furnished Information Marked with Restrictive Legends;

L1:(ii) The Government shall not permit the recipient to decompile, disassemble, or reverse engineer the software, or use

L0:software decompiled, disassembled, or reverse engineered by the Government pursuant to paragraph (4) of this definition,

L0:for any other purpose; and

L1:(iii) Such use is subject to the limitations in paragraphs (1) through (4) of this definition; and

L1:(7) Use, modify, reproduce, perform, display, or release or disclose computer software to a person authorized to receive

L0:restricted rights computer software for management and oversight of a program or effort, and permit covered Government

L0:support contractors in the performance of covered Government support contracts that contain the clause at 252.227-7025,

L0:Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive Legends, to use,

L0:modify, reproduce, perform, display, or release or disclose the computer software to a person authorized to receive

L0:restricted rights computer software, provided that (i) The Government shall not permit the covered Government support contractor to decompile, disassemble, or reverse

L0:engineer the software, or use software decompiled, disassembled, or reverse engineered by the Government pursuant to

L0:paragraph (4) of this definition, for any other purpose; and

L1:(ii) Such use is subject to the limitations in paragraphs (1) through (4) of this definition.

L0:Small Business Innovation Research/Small Business Technology Transfer (SBIR/STTR) data? means all technical data or

L0:computer software developed or generated in the performance of a phase I, II, or III SBIR/STTR contract or subcontract.

L0:?SBIR/STTR data protection period? means the time period during which the Government is obligated to protect

L0:SBIR/STTR data against unauthorized use and disclosure in accordance with SBIR/STTR data rights. The SBIR/STTR

L0:data protection period begins on the date of award of the contract under which the SBIR/STTR data are developed or

L0:generated and ends 20 years after that date unless, after the award, the agency and the Contractor negotiate for some other

L0:protection period for the SBIR/STTR data developed or generated under that contract.

L0:?SBIR/STTR data rights? means the Government's rights, during the SBIR/STTR data protection period, in SBIR/STTR

L0:data covered by paragraph (c)(5) of this clause, as follows:

L1:(1) Limited rights in such SBIR/STTR technical data; and

L1:(2) Restricted rights in such SBIR/STTR computer software.

L0:?Technical data? means recorded information, regardless of the form or method of the recording, of a scientific or technical

L0:nature (including computer software documentation). The term does not include computer software or financial,

L0:administrative, cost or pricing, or management information, or information incidental to contract administration .

L0:?Unlimited rights? means rights to use, modify, reproduce, release, perform, display, or disclose, technical data or computer

L0:software in whole or in part, in any manner and for any purpose whatsoever, and to have or authorize others to do so.

L1:(b) Applicability. This clause governs all SBIR/STTR data. For any data that are not SBIR/STTR data?

L1:(1) The clause at Defense Federal Acquisition Regulation Supplement (DFARS) 252.227-7013, Rights in Technical Data?

L0:Other Than Commercial Products and Commercial Services, governs the technical data pertaining to other than

L0:commercial products and commercial services or to any portion of a commercial product or commercial service that was

L0:developed in any part at Government expense, and the clause at DFARS 252.227-7015, Technical Data?Commercial

L0:Products and Commercial Services, governs the technical data pertaining to any portion of a commercial product or

L0:commercial service that was developed exclusively at private expense;

L1:(2) The clause at DFARS 252.227-7014, Rights in Other Than Commercial Computer Software and Other Than

L0:Commercial Computer Software Documentation, governs other than commercial computer software and other than

L0:commercial computer software documentation; and

L1:(3) A license consistent with DFARS 227.7202 governs commercial computer software and commercial computer software

L0:documentation.

L1:(c) Rights in technical data and computer software. The Contractor grants or shall obtain for the Government the following

L0:royalty-free, worldwide, nonexclusive, irrevocable license rights in technical data or other than commercial computer

L0:software. All rights not granted to the Government are retained by the Contractor.

L1:(1) Unlimited rights. The Government shall have unlimited rights in technical data or computer software, including such

L0:data generated under this contract, that are?

L1:(i) Form, fit, and function data;

L1:(ii) Necessary for installation, operation, maintenance, or training purposes (other than detailed manufacturing or process

L0:data);

L1:(iii) Corrections or changes to Government-furnished technical data or computer software;

L1:(iv) Otherwise publicly available or have been released or disclosed by the Contractor or a subcontractor without

L0:restrictions on further use, release, or disclosure other than a release or disclosure resulting from the sale, transfer, or other

L0:assignment of interest in the technical data or computer software to another party or the sale or transfer of some or all of a

L0:business entity or its assets to another party;

L1:(v) Technical data or computer software in which the Government has acquired previously unlimited rights under another

L0:Government contract or as a result of negotiations;

L1:(vi) Technical data or computer software furnished to the Government, under this or any other Government contract or

L0:subcontract thereunder, with license rights for which all restrictive conditions on the Government have expired; and

L1:(vii) Computer software documentation generated or required to be delivered under this contract.

L1:(2) Government purpose rights.

L1:(i) The Government shall have government purpose rights for the period specified in paragraph (c)(2)(ii) of this clause in

L0:data that are?

L1:(A) Not SBIR/STTR data, and are?

L1:(1) Technical data pertaining to items, components, or processes developed with mixed funding, or are computer software

L0:developed with mixed funding, except when the Government is entitled to unlimited rights in such data as provided in

L0:paragraph (c)(1) of this clause;

L1:(2) Created with mixed funding in the performance of a contract that does not require the development, manufacture,

L0:construction, or production of items, components, or processes; or

L1:(B) SBIR/STTR data, upon expiration of the SBIR/STTR data protection period.

L1:(ii)(A) For the non-SBIR/STTR data described in paragraph (c)(2)(i)(A) of this clause, the Government shall have

L0:government purpose rights for a period of 5 years, or such other period as may be negotiated. This period shall commence

L0:upon award of the contract, subcontract, letter contract (or similar contractual instrument), or contract modification

L0:(including a modification to exercise an option) that required development of the items, components, or processes, or

L0:creation of the data described in paragraph (c)(2)(i)(A)(2) of this clause. Upon expiration of the 5-year or other negotiated

L0:period, the Government shall have unlimited rights in the data.

L1:(B) For the SBIR/STTR data described in paragraph (c)(2)(i)(B) of this clause, the Government shall have government

L0:purpose rights perpetually. This Government purpose rights period commences upon the expiration of the

SBIR/STTR data

L0:protection period.

L1:(iii) The Government shall not release or disclose data in which it has government purpose rights unless?

L1:(A) Prior to release or disclosure, the intended recipient is subject to the nondisclosure agreement at DFARS 227.7103-7;

L0:or

L1:(B) The recipient is a Government contractor receiving access to the data for performance of a Government contract that

L0:contains the clause at DFARS 252.227-7025, Limitations on the Use or Disclosure of Government-Furnished Information

L0:Marked with Restrictive Legends.

L1:(iv) The Contractor has the exclusive right, including the right to license others, to use technical data in which the

L0:Government has obtained government purpose rights under this contract for any commercial purpose during the time

L0:period specified in the government purpose rights marking prescribed in paragraph (g)(3) of this clause.

L1:(3) Limited rights. The Government shall have limited rights in technical data that were not generated under this contract,

L0:pertain to items, components, or processes developed exclusively at private expense, and are marked, in accordance with

L0:the marking instructions in paragraph (g)(1) of this clause, with the legend prescribed in paragraph (g)(4) of this clause.

L1:(4) Restricted rights in computer software. The Government shall have restricted rights in other than commercial computer

L0:software required to be delivered or otherwise furnished to the Government under this contract that were developed

L0:exclusively at private expense and were not generated under this contract.

L1:(5) SBIR/STTR data rights. Except for technical data, including computer software documentation, or computer software in

L0:which the Government has unlimited rights under paragraph (c)(1) of this clause, the Government shall have SBIR/STTR

L0:data rights, during the SBIR/STTR data protection period of this contract, in all SBIR/STTR data developed or

L0:generated under this contract . This protection period is not extended by any subsequent SBIR/STTR contracts under which

L0:any portion of that SBIR/STTR data is used or delivered. The SBIR/STTR data protection period of any such subsequent

L0:SBIR/STTR contract applies only to the SBIR/STTR data that are developed or generated under that subsequent contract.

L0:The SBIR/STTR data protection period is governed by the version of this clause that is incorporated in the contract under

L0:which the SBIR/STTR data are developed or generated. If the SBIR/STTR data were developed or generated under a

L0:contract that included a previous version of this clause, then the SBIR/STTR data protection period is governed by that

L0:previous version of this clause.

L1:(6) Specifically negotiated license rights. After contract award, the standard license rights granted to the Government under

L0:paragraphs (c)(1) through (5) of this clause may be modified by mutual agreement to provide such rights as the parties

L0:consider appropriate but shall not provide the Government lesser rights in technical data, including computer software

L0:documentation, than are enumerated in) the definition of "limited rights" of this clause or lesser rights in computer

L0:software than are enumerated the definition of "restricted rights" of this clause. Any rights so negotiated shall be identified

L0:in a license agreement made part of this contract.

L1:(7) Prior government rights. Technical data, including computer software documentation, or computer software that will be

L0:delivered, furnished, or otherwise provided to the Government under this contract, in which the Government has previously

L0:obtained rights shall be delivered, furnished, or provided with the preexisting rights, unless?

L1:(i) The parties have agreed otherwise; or

L1:(ii) Any restrictions on the Government's rights to use, modify, release, perform, display, or disclose the technical data or

L0:computer software have expired or no longer apply.

L1:(8) Release from liability. The Contractor agrees to release the Government from liability for any release or disclosure of

L0:technical data, computer software, or computer software documentation made in accordance with , the definitions of

L0:"Government purpose," "other than commercial computer software," or paragraph (c)(5) of this clause, or in accordance

L0:with the terms of a license negotiated under paragraph (c)(6) of this clause, or by others to whom the recipient has released

L0:or disclosed the data, software, or documentation and to seek relief solely from the party who has improperly used,

L0:modified, reproduced, released, performed, displayed, or disclosed Contractor data or software marked with restrictive

L0:legends.

L1:(9) Covered Government support contractors. The Contractor acknowledges that (i) Limited rights technical data and restricted rights computer software are authorized to be released or disclosed to

L0:covered Government support contractors;

L1:(ii) The Contractor will be notified of such release or disclosure;

L1:(iii) The Contractor may require each such covered Government support contractor to enter into a nondisclosure agreement

L0:directly with the Contractor (or the party asserting restrictions as identified in a restrictive legend) regarding the covered

L0:Government support contractor's use of such data or software, or alternatively that the Contractor (or party asserting

L0:restrictions) may waive in writing the requirement for a nondisclosure agreement; and

L1:(iv) Any such nondisclosure agreement shall address the restrictions on the covered Government support contractor's use

L0:of the data or software as set forth in the clause at DFARS 252.227-7025, Limitations on the Use or Disclosure of

L0:Government-Furnished Information Marked with Restrictive Legends. The nondisclosure agreement shall not include any

L0:additional terms and conditions unless mutually agreed to by the parties to the nondisclosure agreement.

L1:(d) Rights in derivative computer software or computer software documentation. The Government shall retain its

rights in

L0:the unchanged portions of any computer software or computer software documentation delivered under this contract that

L0:the Contractor uses to prepare, or includes in, derivative software or documentation.

L1:(e) Third party copyrighted technical data and computer software. The Contractor shall not, without the written approval of

L0:the Contracting Officer, incorporate any copyrighted technical data, including computer software documentation, or

L0:computer software in the data or software to be delivered under this contract unless the Contractor is the copyright owner

L0:or has obtained for the Government the license rights necessary to perfect a license or licenses in the deliverable data or

L0:software of the appropriate scope set forth in paragraph (c) of this clause and, prior to delivery of such (1) Technical data, has affixed to the transmittal document a statement of the license rights obtained; or

L1:(2) Computer software, has provided a statement of the license rights obtained in a form acceptable to the Contracting

L0:Officer.

L1:(f) Identification and delivery of technical data or computer software to be furnished with restrictions on use, release, or

L0:disclosure.

L1:(1) This paragraph does not apply to technical data or computer software that were or will be generated under this contract

L0:or to restrictions based solely on copyright.

L1:(2) Except as provided in paragraph (f)(3) of this clause, technical data or computer software that the Contractor asserts

L0:should be furnished to the Government with restrictions on use, release, or disclosure is identified in an attachment to this

L0:contract (the Attachment). The Contractor shall not deliver any technical data or computer software with restrictive

L0:markings unless the technical data or computer software are listed on the Attachment.

L1:(3) In addition to the assertions made in the Attachment, other assertions may be identified after award when based on new

L0:information or inadvertent omissions unless the inadvertent omissions would have materially affected the source selection

L0:decision. Such identification and assertion shall be submitted to the Contracting Officer as soon as practicable prior to the

L0:scheduled date for delivery of the technical data or computer software, in the following format, and signed by an official

L0:authorized to contractually obligate the Contractor:

L0:IDENTIFICATION AND ASSERTION OF RESTRICTIONS ON THE GOVERNMENT'S USE, RELEASE, OR

L0:DISCLOSURE OF TECHNICAL DATA OR COMPUTER SOFTWARE

L0:The Contractor asserts for itself, or the persons identified below, that the Government's rights to use, release, or disclose the

L0:following technical data or computer software should be restricted:

L0:Technical Data or

L0:Computer Software to

L0:be Furnished With

L0:Restrictions 1

L1:(LIST)

L0:Basis for Assertion 2

L1:(LIST)

L0:Asserted Rights

L0:Category 3

L1:(LIST)

L0:Name of Person

L0:Asserting Restrictions 4

L1:(LIST)

L0:1

L0:If the assertion is applicable to items, components, or processes developed at private expense, identify both the technical

L0:data and each such item, component, or process.

L0:2 Generally, development at private expense, either exclusively or partially, is the only basis for asserting restrictions on the

L0:Government's rights to use, release, or disclose technical data or computer software. Indicate whether development was

L0:exclusively or partially at private expense. If development was not at private expense, enter the specific reason for asserting

L0:that the Government's rights should be restricted.

L0:3Enter asserted rights category (e.g., limited rights, restricted rights, government purpose rights, or government purpose

L0:license rights from a prior contract, SBIR/STTR data rights under this or another contract, or specifically negotiated L0:licenses).

L0:4

L0:Corporation, individual, or other person, as appropriate.

L0:Date

L0:Printed Name and Title

L0:Signature

L0:(End of identification and assertion)

L1:(4) When requested by the Contracting Officer, the Contractor shall provide sufficient information to enable the

L0:Contracting Officer to evaluate the Contractor's assertions. The Contracting Officer reserves the right to add the

L0:Contractor's assertions to the Attachment and validate any listed assertions, at a later date, in accordance with the

L0:procedures in the DFARS 252.227-7019, Validation of Asserted Restrictions?Computer Software, and/or DFARS

L0:252.227-7037, Validation of Asserted Restrictions on Technical Data, clauses of this contract.

L1:(g) Marking requirements. The Contractor, and its subcontractors or suppliers, may only assert restrictions on the

L0:Government's rights to use, modify, reproduce, release, perform, display, or disclose technical data or computer software to

L0:be delivered under this contract by marking the deliverable data or software subject to restriction. Except as provided in

L0:paragraph (g)(8) of this clause, only the following markings are authorized under this contract: the government purpose

L0:rights marking at paragraph (g) (3) of this clause; the limited rights legend at paragraph (g)(4) of this clause; the

restricted

L0:rights legend at paragraph (g)(5) of this clause; the SBIR/STTR data rights legend at paragraph (g)(6) of this clause; the

L0:special license rights legend at paragraph (g)(7) of this clause; and a notice of copyright as prescribed under 17 U.S.C. 401

L0:or 402.

L1:(1) General marking instructions. The Contractor, or its subcontractors or suppliers, shall conspicuously and legibly mark

L0:the appropriate legend to all technical data and computer software that qualify for such markings. The authorized legends

L0:shall be placed on the transmittal document or storage container and, for printed material, each page of the printed material

L0:containing technical data or computer software for which restrictions are asserted. When only portions of a page of printed

L0:material are subject to the asserted restrictions, such portions shall be identified by circling, underscoring, with a note, or

L0:other appropriate identifier. Technical data or computer software transmitted directly from one computer or computer

L0:terminal to another shall contain a notice of asserted restrictions. However, instructions that interfere with or delay the

L0:operation of computer software in order to display a restrictive rights legend or other license statement at any time prior to

L0:or during use of the computer software, or otherwise cause such interference or delay, shall not be inserted in software that

L0:will or might be used in combat or situations that simulate combat conditions, unless the Contracting Officer's written

L0:permission to deliver such software has been obtained prior to delivery. Reproductions of technical data, computer

L0:software, or any portions thereof subject to asserted restrictions shall also reproduce the asserted restrictions.

L1:(2) Omitted markings.

L1:(i) Technical data, computer software, or computer software documentation delivered or otherwise provided under this

L0:contract without restrictive markings shall be presumed to have been delivered with unlimited rights. To the extent

L0:practicable, if the Contractor has requested permission (see paragraph (g)(2)(ii) of this clause) to correct an inadvertent

L0:omission of markings, the Contracting Officer will not release or disclose the technical data, software, or documentation

L0:pending evaluation of the request.

L1:(ii) The Contractor may request permission to have conforming and justified restrictive markings placed on unmarked

L0:technical data, computer software, or computer software documentation at its expense. The request must be received by the

L0:Contracting Officer within 6 months following the furnishing or delivery of such technical data, software, or

L0:documentation, or any extension of that time approved by the Contracting Officer. The Contractor shall?

L1:(A) Identify the technical data, software, or documentation that should have been marked;

L1:(B) Demonstrate that the omission of the marking was inadvertent, the proposed marking is justified and conforms with the

L0:requirements for the marking of technical data, computer software, or computer software documentation contained

in this

L0:clause; and

L1:(C) Acknowledge, in writing, that the Government has no liability with respect to any disclosure, reproduction, or use of

L0:the technical data, software, or documentation made prior to the addition of the marking or resulting from the omission of

L0:the marking.

L1:(3) Government purpose rights markings. Technical data or computer software delivered or otherwise furnished to the

L0:Government with government purpose rights shall be marked as follows:

L0:GOVERNMENT PURPOSE RIGHTS

L0:Contract Number

L0:Contractor Name

L0:Contractor Address

L0:Expiration Date

L0:The Government's rights to use, modify, reproduce, release, perform, display, or disclose these technical data or computer

L0:software are restricted by paragraph (c)(2) of the DFARS 252.227-7018, Rights in Other Than Commercial Technical

L0:Data and Computer Software? Small Business Innovation Research Program and Small Business Technology Transfer

L0:Program, clause contained in the above identified contract. No restrictions apply after the expiration date shown above.

L0:Any reproduction of technical data or computer software or portions thereof marked with this restrictive marking must also

L0:reproduce the markings.

L0:(End of legend)

L1:(4) Limited rights markings. Technical data not generated under this contract that pertain to items, components, or

L0:processes developed exclusively at private expense and delivered or otherwise furnished with limited rights shall be

L0:marked as follows:

L0:LIMITED RIGHTS

L0:Contract Number

L0:Contractor Name

L0:Contractor Address

L0:The Government's rights to use, modify, reproduce, release, perform, display, or disclose these technical data are restricted

L0:by paragraph (c)(3) of the DFARS 252.227-7018, Rights in Other Than Commercial Technical Data and Computer

L0:Software? Small Business Innovation Research Program and Small Business Technology Transfer Program, clause

L0:contained in the above identified contract. Any reproduction of technical data or portions thereof marked with this legend

L0:must also reproduce the markings. Any person, other than the Government, who has been provided access to such data

L0:must promptly notify the above named Contractor.

L0:(End of legend)

L1:(5) Restricted rights markings. Computer software delivered or otherwise furnished to the Government with restricted

L0:rights shall be marked as follows:

L0:RESTRICTED RIGHTS

L0:Contract Number

L0:Contractor Name

L0:Contractor Address

L0:The Government's rights to use, modify, reproduce, release, perform, display, or disclose this software are restricted by

L0:paragraph (c)(4) of the DFARS 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software

L0:Small Business Innovation Research Program and Small Business Technology Transfer Program, clause contained in the

L0:above identified contract. Any reproduction of computer software or portions thereof marked with this legend must also

L0:reproduce the markings. Any person, other than the Government, who has been provided access to such software must

L0:promptly notify the above named Contractor.

L0:(End of legend)

L1:(6) SBIR/STTR data rights markings. Except for technical data or computer software in which the Government has acquired unlimited rights under paragraph (c)(1) of this clause or negotiated special license rights as provided in paragraph

L1:(c)(6) of this clause, technical data or computer software generated under this contract shall be marked as follows. The

L0:Contractor shall enter the expiration date for the SBIR/STTR data protection period on the legend:

L0:SBIR/STTR DATA RIGHTS

L0:Contract Number

L0:Contractor Name

L0:Contractor Address

L0:Expiration of SBIR/STTR Data Protection Period

L0:Expiration of the Government Purpose Rights Period

L0:The Government's rights to use, modify, reproduce, release, perform, display, or disclose technical data or computer

L0:software marked with this legend are restricted during the period shown as provided in paragraph (c)(5) of the DFARS

L0:252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software-Small Business Innovation Research Program and Small Business Technology Transfer Program, clause contained in the above identified contract.

L0:After the SBIR/STTR data protection period expiration date shown above, the Government has perpetual government

L0:purpose rights as provided in paragraph (c)(4) of that clause, unless otherwise indicated by the government purpose rights

L0:expiration date shown above. Any reproduction of technical data, computer software, or portions thereof marked with this

L0:legend must also reproduce the markings.

L0:(End of legend)

L1:(7) Special license rights markings.

L1:(i) Technical data or computer software in which the Government's rights stem from a specifically negotiated license shall

L0:be marked as follows:

L0:SPECIAL LICENSE RIGHTS

L0:The Government's rights to use, modify, reproduce, release, perform, display, or disclose this technical data or computer

L0:software are restricted by Contract Number ____ Insert contract number ____, License Number ____ Insert license L0:identifier _____. Any reproduction of technical data, computer software, or portions thereof marked with this legend must

L0:also reproduce the markings.

L0:(End of legend)

L1:(ii) For purposes of this clause, special licenses do not include government purpose license rights acquired under a prior

L0:contract (see paragraph (c)(7) of this clause).

L1:(8) Preexisting data markings. If the terms of a prior contract or license permitted the Contractor to restrict the

L0:Government's rights to use, modify, reproduce, release, perform, display, or disclose technical data or computer software,

L0:and those restrictions are still applicable, the Contractor may mark such data or software with the appropriate restrictive

L0:legend for which the data or software qualified under the prior contract or license. The Contractor shall follow the marking

L0:procedures in paragraph (g)(1) of this clause.

L1:(h) Contractor procedures and records. Throughout performance of this contract, the Contractor, and its subcontractors or

L0:suppliers that will deliver technical data or computer software with other than unlimited rights, shall?

L1:(1) Have, maintain, and follow written procedures sufficient to assure that restrictive markings are used only when

L0:authorized by the terms of this clause; and

L1:(2) Maintain records sufficient to justify the validity of any restrictive markings on technical data or computer software L0:delivered under this contract.

L1:(i) Removal of unjustified and nonconforming markings.

L1:(1) Unjustified markings. The rights and obligations of the parties regarding the validation of restrictive markings on

L0:technical data or computer software furnished or to be furnished under this contract are contained in the DFARS 252.2277037, Validation of Asserted Restrictions on Technical Data, and the DFARS 252.227-7019, Validation of Asserted

L0:Restrictions?Computer Software, clauses of this contract, respectively. Notwithstanding any provision of this contract

L0:concerning inspection and acceptance, the Government may ignore or, at the Contractor?s expense, correct or strike a

L0:marking if, in accordance with the applicable procedures of those clauses, a restrictive marking is determined to be L0:unjustified.

L1:(2) Nonconforming markings. A nonconforming marking is a marking placed on technical data or computer software

L0:delivered or otherwise furnished to the Government under this contract that is not in the format authorized by this contract.

L0:Correction of nonconforming markings is not subject to the DFARS 252.227-7037, Validation of Asserted

Restrictions on

L0:Technical Data, or the DFARS 252.227-7019, Validation of Asserted Restrictions?Computer Software, clause of this L0:contract. If the Contracting Officer notifies the Contractor of a nonconforming marking or markings and the Contractor

L0:fails to remove or correct such markings within 60 days, the Government may ignore or, at the Contractor?s expense,

L0:remove or correct any nonconforming markings.

L1:(j) Relation to patents. Nothing contained in this clause shall imply a license to the Government under any patent or be

L0:construed as affecting the scope of any license or other right otherwise granted to the Government under any patent.

L1:(k) Limitation on charges for rights in technical data or computer software.

L1:(i) The Government has acquired, by any means, the same or greater rights in the data or software; or

L1:(ii) The data are available to the public without restrictions.

L1:(2) The limitation in paragraph (k)(1) of this clause?

L1:(i) Includes costs charged by a subcontractor or supplier, at any tier, or costs incurred by the Contractor to acquire rights in

L0:subcontractor of supplier technical data or computer software, if the subcontractor or supplier has been paid for such rights

L0:under any other Government contract or under a license conveying the rights to the Government; and

L1:(ii) Does not include the reasonable costs of reproducing, handling, or mailing the documents or other media in which the

L0:technical data or computer software will be delivered.

L1:(l) Subcontractors or suppliers.

L1:(1) The Contractor shall assure that the rights afforded its subcontractors and suppliers under 10 U.S.C.3771-3775, 10

L0:U.S.C. 3781-3786, 15 U.S.C. 638(j)(1)(B)(iii) and (v), and the identification, assertion, and delivery processes required by

L0:paragraph (f) of this clause are recognized and protected.

L1:(2) Whenever any other than commercial technical data or computer software is to be obtained from a subcontractor or

L0:supplier for delivery to the Government under this contract, the Contractor shall use the following clause(s) in the L0:subcontract or other contractual instrument, and require its subcontractors or suppliers to do so, without alteration, except

L0:to identify the parties:

L1:(i) Except as provided in paragraph (l)(2)(ii) of this clause, use this clause to govern SBIR/STTR data.

L1:(ii) For data that are not SBIR/STTR data?

L1:(A) Use the clause at DFARS 252.227-7013, Rights in Technical Data?Other Than Commercial Products and Commercial

L0:Services, to govern the technical data pertaining to other than commercial products or commercial services or to any L0:portion of a commercial product or commercial service that was developed in any part at Government expense, and use the

L0:clause at DFARS 252.227-7015, Technical Data?Commercial Products and Commercial Services, to govern the technical

L0:data pertaining to any portion of a commercial product or commercial service that was developed exclusively at

private

L0:expense;

L1:(B) Use the DFARS clause at 252.227-7014, Rights in Other Than Commercial Computer Software and Other Than L0:Commercial Computer Software Documentation, to govern other than commercial computer software and computer L0:software documentation; and

L1:(C) Use the license under which the data are customarily provided to the public, in accordance with DFARS 227.7202, for

L0:commercial computer software and commercial computer software documentation.

L1:(iii) No other clause shall be used to enlarge or diminish the Government's, the Contractor's, or a higher tier subcontractor's

L0:or supplier's rights in a subcontractor's or supplier's technical data or computer software.

L1:(3) Technical data required to be delivered by a subcontractor or supplier shall normally be delivered to the next higher tier

L0:contractor, subcontractor, or supplier. However, when there is a requirement in the prime contract for technical data which

L0:may be submitted with other than unlimited rights by a subcontractor or supplier, then said subcontractor or supplier may

L0:fulfill its requirement by submitting such technical data directly to the Government, rather than through a higher tier

L0:contractor, subcontractor, or supplier.

L1:(4) The Contractor and higher tier subcontractors or suppliers shall not use their power to award contracts as economic

L0:leverage to obtain rights in technical data or computer software from their subcontractors or suppliers.

L1:(5) In no event shall the Contractor use its obligation to recognize and protect subcontractor or supplier rights in technical

L0:data or computer software as an excuse for failing to satisfy its contractual obligation to the Government.

L0:(End of clause)

252.227-7019 Validation of Asserted Restrictions?Computer Software

Status: active

L0:252.227-7019 Validation of Asserted Restrictions?Computer Software.

L0:As prescribed in 227.7104-4(b)(3) or 227.7203-6(c), use the following clause:

L0:VALIDATION OF ASSERTED RESTRICTIONS?COMPUTER SOFTWARE (JAN 2025)

L1:(a) Definitions. As used in this clause?

L0:?Contractor?, unless otherwise specifically indicated, means the Contractor and its subcontractors or suppliers.

L0:Other terms are defined in the 252.227-7014, Rights in Other Than Commercial Computer Software and Other Than L0:Commercial Computer Software Documentation, clause of this contract.

L1:(b) Justification. The Contractor shall maintain records sufficient to justify the validity of any asserted restrictions on the

L0:Government's rights to use, modify, reproduce, perform, display, release, or disclose computer software delivered, required

L0:to be delivered, or otherwise provided to the Government under this contract and shall be prepared to furnish to the

L0:Contracting Officer a written justification for such asserted restrictions in response to a request for information under

L0:paragraph (d) of this clause or a challenge under paragraph (f) of this clause.

L1:(c) Direct contact with subcontractors or suppliers. The Contractor agrees that the Contracting Officer may transact L0:matters under this clause directly with subcontractors or suppliers at any tier who assert restrictions on the Government's

L0:right to use, modify, reproduce, release, perform, display, or disclose computer software. Neither this clause, nor any action

L0:taken by the Government under this clause, creates or implies privity of contract between the Government and the L0:Contractor's subcontractors or suppliers.

L1:(d) Requests for information.

L1:(1) The Contracting Officer may request the Contractor to provide sufficient information to enable the Contracting Officer

L0:to evaluate the Contractor's asserted restrictions. Such information shall be based upon the records required by this clause

L0:or other information reasonably available to the Contractor.

L1:(2) Based upon the information provided, if the?

L1:(i) Contractor agrees that an asserted restriction is not valid, the Contracting Officer may?

L1:(A) Strike or correct the unjustified marking at the Contractor's expense; or

L1:(B) Return the computer software to the Contractor for correction at the Contractor's expense. If the Contractor fails to

L0:correct or strike the unjustified marking and return the corrected software to the Contracting Officer within 60 days

L0:following receipt of the software, the Contracting Officer may correct or strike the marking at the Contractor's expense;

L1:(ii) Contracting Officer concludes that the asserted restriction is appropriate for this contract, the Contracting Officer shall

L0:so notify the Contractor in writing.

L1:(3) The Contractor's failure to provide a timely response to a Contracting Officer's request for information or failure to L0:provide sufficient information to enable the Contracting Officer to evaluate an asserted restriction shall constitute

L0:reasonable grounds for questioning the validity of an asserted restriction.

L1:(e) Government right to challenge and validate asserted restrictions.

L1:(1) The Government, when there are reasonable grounds to do so, has the right to review and challenge the validity of any

L0:restrictions asserted by the Contractor on the Government's rights to use, modify, reproduce, release, perform, display, or

L0:disclose computer software delivered, to be delivered under this contract, or otherwise provided to the Government in the

L0:performance of this contract. Except for software that is publicly available, has been furnished to the Government without

L0:restrictions, has been otherwise made available without restrictions, or is the subject of a fraudulently asserted use or

L0:release restriction, the Government may exercise this right only within 6 years after the date(s) the software is delivered or

L0:otherwise furnished to the Government, or 6 years following final payment under this contract, whichever is later.

L1:(2) The absence of a challenge to an asserted restriction shall not constitute validation under this clause. Only a Contracting

L0:Officer's final decision or actions of an agency Board of Contract Appeals or a court of competent jurisdiction that sustain

L0:the validity of an asserted restriction constitute validation of the restriction.

L1:(f) Challenge procedures.

L1:(1) A challenge must be in writing and shall?

L1:(i) State the specific grounds for challenging the asserted restriction;

L1:(ii) Require the Contractor to respond in writing within 60 days;

L1:(iii) Require the Contractor to provide justification for the assertion based upon records kept in accordance with paragraph

L1:(b) of this clause and such other documentation that are reasonably available to the Contractor, in sufficient detail to enable

L0:the Contracting Officer to determine the validity of the asserted restrictions; and

L1:(iv) State that a Contracting Officer's final decision, during the 3-year period preceding this challenge, or action of a court

L0:of competent jurisdiction or Board of Contract Appeals that sustained the validity of an identical assertion made by the

L0:Contractor (or a licensee) shall serve as justification for the asserted restriction.

L1:(2) The Contracting Officer shall extend the time for response if the Contractor submits a written request showing the need

L0:for additional time to prepare a response.

L1:(3) The Contracting Officer may request additional supporting documentation if, in the Contracting Officer's opinion, the

L0:Contractor's explanation does not provide sufficient evidence to justify the validity of the asserted restrictions. The

L0:Contractor agrees to promptly respond to the Contracting Officer's request for additional supporting documentation.

L1:(4) Notwithstanding challenge by the Contracting Officer, the parties may agree on the disposition of an asserted restriction

L0:at any time prior to a Contracting Officer's final decision or, if the Contractor has appealed that decision, filed suit, or

L0:provided notice of an intent to file suit, at any time prior to a decision by a court of competent jurisdiction or Board of

L0:Contract Appeals.

L1:(5) If the Contractor fails to respond to the Contracting Officer's request for information or additional information under

L0:paragraph (f)(1) of this clause, the Contracting Officer shall issue a final decision, in accordance with the Disputes clause

L0:of this contract, pertaining to the validity of the asserted restriction.

L1:(6) If the Contracting Officer, after reviewing any available information pertaining to the validity of an asserted restriction,

L0:determines that the asserted restriction has?

L1:(i) Not been justified, the Contracting Officer shall issue promptly a final decision, in accordance with the Disputes clause

L0:of this contract, denying the validity of the asserted restriction; or

L1:(ii) Been justified, the Contracting Officer shall issue promptly a final decision, in accordance with the Disputes clause of

L0:this contract, validating the asserted restriction.

L1:(7) A Contractor receiving challenges to the same asserted restriction(s) from more than one Contracting Officer shall

L0:notify each Contracting Officer of the other challenges. The notice shall also state which Contracting Officer initiated the

L0:first in time unanswered challenge. The Contracting Officer who initiated the first in time unanswered challenge, after consultation with the other Contracting Officers who have challenged the restrictions and the Contractor, shall formulate

L0:and distribute a schedule that provides the Contractor a reasonable opportunity for responding to each challenge.

L1:(g) Contractor appeal? Government obligation.

L1:(1) The Government agrees that, notwithstanding a Contracting Officer's final decision denying the validity of an asserted

L0:restriction and except as provided in paragraph (g)(3) of this clause, it will honor the asserted restriction?

L1:(i) For a period of 90 days from the date of the Contracting Officer's final decision to allow the Contractor to appeal to the

L0:appropriate Board of Contract Appeals or to file suit in an appropriate court;

L1:(ii) For a period of 1 year from the date of the Contracting Officer's final decision if, within the first 90 days following the

L0:Contracting Officer's final decision, the Contractor has provided notice of an intent to file suit in an appropriate court; or

L1:(iii) Until final disposition by the appropriate Board of Contract Appeals or court of competent jurisdiction, if the

L0:Contractor has?

L1:(A) Appealed to the Board of Contract Appeals or filed suit in an appropriate court within 90 days; or

L1:(B) Submitted, within 90 days, a notice of intent to file suit in an appropriate court and filed suit within 1 year.

L1:(2) The Contractor agrees that the Government may strike, correct, or ignore the restrictive markings if the Contractor fails

L0:to?

L1:(i) Appeal to a Board of Contract Appeals within ninety (90) days from the date of the Contracting Officer's final decision;

L1:(ii) File suit in an appropriate court within ninety (90) days from such date; or

L1:(iii) File suit within 1 year after the date of the Contracting Officer's final decision if the Contractor had provided notice of

L0:intent to file suit within 90 days following the date of the Contracting Officer's final decision.

L1:(3)(i) The agency head, on a nondelegable basis, may determine that urgent or compelling circumstances do not permit

L0:awaiting the filing of suit in an appropriate court, or the rendering of a decision by a court of competent jurisdiction or

L0:Board of Contract Appeals. In that event, the agency head shall notify the Contractor of the urgent or compelling

L0:circumstances. Notwithstanding paragraph (g)(1) of this clause, the Contractor agrees that the agency may use, modify,

L0:reproduce, release, perform, display, or disclose computer software marked with?

L1:(A) Government purpose legends for any purpose, and authorize others to do so; or

L1:(B) Restricted or special license rights for Government purposes only.

L1:(ii) The Government agrees not to release or disclose such software unless, prior to release or disclosure, the intended

L0:recipient is subject to the use and nondisclosure agreement at Defense Federal Acquisition Regulation Supplement

L1:(DFARS) 227.7103-7 , or is a Government contractor receiving access to the software for performance of a Government

L0:contract that contains the clause at DFARS 252.227-7025, Limitations on the Use or Disclosure of Government-Furnished

L0:Information Marked with Restrictive Legends. The agency head's determination may be made at any time after the

date of

L0:the Contracting Officer's final decision and shall not affect the Contractor's right to damages against the United States, or

L0:other relief provided by law, if its asserted restrictions are ultimately upheld.

L1:(h) Final disposition of appeal or suit. If the Contractor appeals or files suit and if, upon final disposition of the appeal or

L0:suit, the Contracting Officer's decision is:

L1:(1) Sustained?

L1:(i) Any restrictive marking on such computer software shall be struck or corrected at the Contractor's expense or ignored;

L0:and

L1:(ii) If the asserted restriction is found not to be substantially justified, the Contractor shall be liable to the Government for

L0:payment of the cost to the Government of reviewing the asserted restriction and the fees and other expenses (as defined in

L0:28 U.S.C. 2412(d)(2)(A)) incurred by the Government in challenging the restriction, unless special circumstances would

L0:make such payment unjust.

L1:(2) Not sustained?

L1:(i) The Government shall be bound by the asserted restriction; and

L1:(ii) If the challenge by the Government is found not to have been made in good faith, the Government shall be liable to the

L0:Contractor for payment of fees and other expenses (as defined in 28 U.S.C. 2412(d)(2)(A)) incurred by the Contractor in

L0:defending the restriction.

L1:(i) Flowdown. The Contractor shall insert this clause in all contracts, purchase orders, and other similar instruments with its

L0:subcontractors or suppliers, at any tier, who will be furnishing computer software to the Government in the performance of

L0:this contract. The clause may not be altered other than to identify the appropriate parties.

L0:(End of clause)

252.227-7020 Rights in Special Works

Status: active

L0:252.227-7020 Rights in Special Works.

L0:As prescribed in 227.7105-3, 227.7106 (a) or 227.7205 (a), use the following clause:

L0:RIGHTS IN SPECIAL WORKS (JUN 1995)

L1:(a) Applicability. This clause applies to works first created, generated, or produced and required to be delivered under this

L0:contract.

L1:(b) Definitions. As used in this clause:

L1:(1) "Computer data base" means a collection of data recorded in a form capable of being processed by a computer. The

L0:term does not include computer software.

L1:(2) ?Computer program? means a set of instructions, rules, or routines recorded in a form that is capable of causing a

L0:computer to perform a specific operation or series of operations.

L1:(3) ?Computer software? means computer programs, source code, source code listings, object code listings, design details,

L0:algorithms, processes, flow charts, formulae and related material that would enable the software to be reproduced,

L0:recreated, or recompiled. Computer software does not include computer data bases or computer software documentation.

L1:(4) ?Computer software documentation? means owner's manuals, user's manuals, installation instructions, operating L0:instructions, and other similar items, regardless of storage medium, that explain the capabilities of the computer software or

L0:provide instructions for using the software.

L1:(5) ?Unlimited rights? means the rights to use, modify, reproduce, perform, display, release, or disclose a work in whole or

L0:in part, in any manner, and for any purpose whatsoever, and to have or authorize others to do so.

L1:(6) The term ?works? includes computer data bases, computer software, or computer software documentation; literary,

L0:musical, choreographic, or dramatic compositions; pantomimes; pictorial, graphic, or sculptural compositions; motion

L0:pictures and other audiovisual compositions; sound recordings in any medium; or, items of similar nature.

L1:(c) License rights.

L1:(1) The Government shall have unlimited rights in works first produced, created, or generated and required to be delivered

L0:under this contract.

L1:(2) When a work is first produced, created, or generated under this contract, and such work is required to be delivered

L0:under this contract, the Contractor shall assign copyright in those works to the Government. The Contractor, unless

L0:directed to the contrary by the Contracting Officer, shall place the following notice on such works:

L0:© (Year date of delivery) United States Government, as represented by the Secretary of (department). All rights reserved.?

L0:For phonorecords, the ?©? marking shall be replaced by a ?P?.

L1:(3) The Contractor grants to the Government a royalty-free, world-wide, nonexclusive, irrevocable license to reproduce,

L0:prepare derivative works from, distribute, perform, or display, and to have or authorize others to do so, the Contractor's

L0:copyrighted works not first produced, created, or generated under this contract that have been incorporated into the works

L0:deliverable under this contract.

L1:(d) Third party copyrighted data. The Contractor shall not incorporate, without the written approval of the Contracting

L0:Officer, any copyrighted works in the works to be delivered under this contract unless the Contractor is the copyright

L0:owner or has obtained for the Government the license rights necessary to perfect a license of the scope identified in

L0:paragraph (c)(3) of this clause and, prior to delivery of such works?

L1:(1) Has affixed to the transmittal document a statement of the license rights obtained; or

L1:(2) For computer software, has provided a statement of the license rights obtained in a form acceptable to the Contracting

L0:Officer.

L1:(e) Indemnification. The Contractor shall indemnify and save and hold harmless the Government, and its officers, agents

L0:and employees acting for the Government, against any liability, including costs and expenses, (1) for violation of L0:proprietary rights, copyrights, or rights of privacy or publicity, arising out of the creation, delivery, use, modification, L0:reproduction, release, performance, display, or disclosure of any works furnished under this contract, or (2) based upon any

L0:libelous or other unlawful matter contained in such works.

L1:(f) Government-furnished information. Paragraphs (d) and (e) of this clause are not applicable to information furnished to

L0:the Contractor by the Government and incorporated in the works delivered under this contract.

L0:(End of clause)

252.227-7021 Rights in Data?Existing Works

Status: active

L0:252.227-7021 Rights in Data?Existing Works.

L0:As prescribed at 227.7105-2 (a), use the following clause:

L0:RIGHTS IN DATA?EXISTING WORKS (MAR 1979)

L1:(a) The term "works" as used herein includes literary, musical, and dramatic works; pantomimes and choreographic works;

L0:pictorial, graphic and sculptural works; motion pictures and other audiovisual works; sound recordings; and works of a

L0:similar nature. The term does not include financial reports, cost analyses, and other information incidental to contract L0:administration.

L1:(b) Except as otherwise provided in this contract, the Contractor hereby grants to the Government a nonexclusive, paid-up

L0:license throughout the world (1) to distribute, perform publicly, and display publicly the works called for under this L0:contract and (2) to authorize others to do so for Government purposes.

L1:(c) The Contractor shall indemnify and save and hold harmless the Government, and its officers, agents, and employees

L0:acting for the Government, against any liability, including costs and expenses, (1) for violation of proprietary rights, L0:copyrights, or rights of privacy or publicity arising out of the creation, delivery, or use, of any works furnished under this

L0:contract, or (2) based upon any libelous or other unlawful matter contained in same works.

L0:(End of clause)

252.227-7022 Government Rights (Unlimited)

Status: active

L0:252.227-7022 Government Rights (Unlimited).

L0:As prescribed at 227.7107-1 (a) use the following clause:

L0:GOVERNMENT RIGHTS (UNLIMITED) (MAR 1979)

L0:The Government shall have unlimited rights, in all drawings, designs, specifications, notes and other works developed in

L0:the performance of this contract, including the right to use same on any other Government design or construction without

L0:additional compensation to the Contractor. The Contractor hereby grants to the Government a paid-up license throughout

L0:the world to all such works to which he may assert or establish any claim under design patent or copyright laws. The

L0:Contractor for a period of three (3) years after completion of the project agrees to furnish the original or copies of all such

L0:works on the request of the Contracting Officer.

L0:(End of clause)

252.227-7023 Drawings and Other Data to Become Property of Government

Status: active

L0:252.227-7023 Drawings and Other Data to Become Property of Government.

L0:As prescribed at 227.7107-1 (b), use the following clause:

L0:DRAWINGS AND OTHER DATA TO BECOME PROPERTY OF GOVERNMENT (MAR 1979)

L0:All designs, drawings, specifications, notes and other works developed in the performance of this contract shall become the

L0:sole property of the Government and may be used on any other design or construction without additional compensation to

L0:the Contractor. The Government shall be considered the ?person for whom the work was prepared? for the purpose of

L0:authorship in any copyrightable work under 17 U.S.C. 201(b). With respect thereto, the Contractor agrees not to assert or

L0:authorize others to assert any rights nor establish any claim under the design patent or copyright laws. The Contractor for a

L0:period of three (3) years after completion of the project agrees to furnish all retained works on the request of the

L0:Contracting Officer. Unless otherwise provided in this contract, the Contractor shall have the right to retain copies of all

L0:works beyond such period.

L0:(End of clause)

252.227-7024 Notice and Approval of Restricted Designs

Status: active

L0:252.227-7024 Notice and Approval of Restricted Designs.

L0:As prescribed at 227.7107-3 , use the following clause:

L0:NOTICE AND APPROVAL OF RESTRICTED DESIGNS (APR 1984)

L0:In the performance of this contract, the Contractor shall, to the extent practicable, make maximum use of structures,

L0:machines, products, materials, construction methods, and equipment that are readily available through Government or

L0:competitive commercial channels, or through standard or proven production techniques, methods, and processes.
Unless

L0:approved by the Contracting Officer, the Contractor shall not produce a design or specification that requires in this
L0:construction work the use of structures, products, materials, construction equipment, or processes that are known by
the

L0:Contractor to be available only from a sole source. The Contractor shall promptly report any such design or
specification to

L0:the Contracting Officer and give the reason why it is considered necessary to so restrict the design or specification.

L0:(End of clause)

252.227-7025 Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive

Status: active

L0:252.227-7025 Limitations on the Use or Disclosure of Government-Furnished Information Marked with Restrictive
L0:Legends.

L0:As prescribed in 227.7103-6(c), 227.7104-4(b)(4), or 227.7203-6(d), use the following clause:

L0:LIMITATIONS ON THE USE OR DISCLOSURE OF GOVERNMENT-FURNISHED INFORMATION MARKED

L0:WITH RESTRICTIVE LEGENDS (JAN 2025)

L1:(a) Definitions. As used in this clause?

L1:(1) For contracts in which the Government will furnish the Contractor with technical data, the terms "covered
Government

L0:support contractor," "limited rights," and "Government purpose rights" are defined in the clause at 252.227-7013 ,
Rights in

L0:Technical Data-Other Than Commercial Products and Commercial Services.

L1:(2) For contracts in which the Government will furnish the Contractor with computer software or computer software
L0:documentation, the terms "covered Government support contractor," "government purpose rights," and "restricted
rights"

L0:are defined in the clause at 252.227-7014 , Rights in Other Than Commercial Computer Software and Other Than

L0:Commercial Computer Software Documentation.

L1:(3) For Small Business Innovation Research (SBIR) Program and Small Business Technology Transfer (STTR)
Program

L0:contracts, the terms ?covered Government support contractor,? ?government purpose rights,? ?limited rights,?
?restricted

L0:rights,? and ?SBIR/STTR data rights? are defined in the clause at 252.227-7018, Rights in Other Than Commercial

L0:Technical Data and Computer Software?Small Business Innovation Research Program and Small Business
Technology

L0:Transfer Program.

L1:(b) Technical data or computer software provided to the Contractor as Government-furnished information (GFI)
under this

L0:contract may be subject to restrictions on use, modification, reproduction, release, performance, display, or further

L0:disclosure.

L1:(1) GFI marked with limited rights, restricted rights, or SBIR/STTR data rights legends.

L1:(i) The Contractor shall use, modify, reproduce, perform, or display technical data received from the Government

with

L0:limited rights legends, computer software received with restricted rights legends, or SBIR/STTR technical data or

L0:computer software received with SBIR/STTR data rights legends (during the SBIR/STTR data protection period) only in

L0:the performance of this contract. The Contractor shall not, without the express written permission of the party whose name

L0:appears in the legend, release or disclose such data or software to any unauthorized person.

L1:(ii) If the Contractor is a covered Government support contractor, the Contractor is also subject to the additional terms and

L0:conditions at paragraph (b)(5) of this clause.

L1:(2) GFI marked with government purpose rights legends. The Contractor shall use technical data or computer software

L0:received from the Government with government purpose rights legends for government purposes only. The Contractor

L0:shall not, without the express written permission of the party whose name appears in the restrictive legend, use, modify,

L0:reproduce, release, perform, or display such data or software for any commercial purpose or disclose such data or software

L0:to a person other than its subcontractors, suppliers, or prospective subcontractors or suppliers, who require the data or

L0:software to submit offers for, or perform, contracts under this contract. Prior to disclosing the data or software, the

L0:Contractor shall require the persons to whom disclosure will be made to complete and sign the nondisclosure agreement at

L0:227.7103-7 of the Defense Federal Acquisition Regulation Supplement (DFARS).

L1:(3) GFI marked with specially negotiated license rights legends.

L1:(i) The Contractor shall use, modify, reproduce, release, perform, or display technical data or computer software received

L0:from the Government with specially negotiated license legends only as permitted in the license. Such data or software may

L0:not be released or disclosed to other persons unless permitted by the license and, prior to release or disclosure, the intended

L0:recipient has completed the nondisclosure agreement at DFARS 227.7103-7. The Contractor shall modify paragraph (1)(c)

L0:of the nondisclosure agreement to reflect the recipient's obligations regarding use, modification, reproduction, release,

L0:performance, display, and disclosure of the data or software.

L1:(ii) If the Contractor is a covered Government support contractor, the Contractor may also be subject to some or all of the

L0:additional terms and conditions at paragraph (b)(5) of this clause, to the extent such terms and conditions are required by

L0:the specially negotiated license.

L1:(4) GFI technical data marked with commercial restrictive legends.

L1:(i) The Contractor shall use, modify, reproduce, perform, or display technical data that are or pertain to a commercial

L0:product or commercial service and are received from the Government with a commercial restrictive legend (i.e., marked to

L0:indicate that such data are subject to use, modification, reproduction, release, performance, display, or disclosure L0:restrictions) only in the performance of this contract. The Contractor shall not, without the express written permission of

L0:the party whose name appears in the legend, use the technical data to manufacture additional quantities of the commercial

L0:products or commercial services, or release or disclose such data to any unauthorized person.

L1:(ii) If the Contractor is a covered Government support contractor, the Contractor is also subject to the additional terms and

L0:conditions at paragraph (b)(5) of this clause.

L1:(5) Covered Government support contractors. If the Contractor is a covered Government support contractor receiving

L0:technical data or computer software marked with restrictive legends pursuant to paragraphs (b)(1)(ii), (b)(3)(ii), or (b)(4)

L1:(ii), the Contractor further agrees and acknowledges that?

L1:(i) The technical data or computer software will be accessed and used for the sole purpose of furnishing independent and

L0:impartial advice or technical assistance directly to the Government in support of the Government's management and

L0:oversight of the program or effort to which such technical data or computer software relates, as stated in this contract, and

L0:shall not be used to compete for any Government or non-Government contract;

L1:(ii) The Contractor will take all reasonable steps to protect the technical data or computer software against any

L0:unauthorized release or disclosure;

L1:(iii) The Contractor will ensure that the party whose name appears in the legend is notified of the access or use within

L0:30days of the Contractor's access or use of such data or software;

L1:(iv) The Contractor will enter into a nondisclosure agreement with the party whose name appears in the legend, if required

L0:to do so by that party, and that any such nondisclosure agreement will implement the restrictions on the Contractor's use of

L0:such data or software as set forth in this clause. The nondisclosure agreement shall not include any additional terms and

L0:conditions unless mutually agreed to by the parties to the nondisclosure agreement; and

L1:(v) That a breach of these obligations or restrictions may subject the Contractor to?

L1:(A) Criminal, civil, administrative, and contractual actions in law and equity for penalties, damages, and other appropriate

L0:remedies by the United States; and

L1:(B) Civil actions for damages and other appropriate remedies by the party whose name appears in the legend.

L1:(c) Indemnification and creation of third party beneficiary rights. The Contractor agrees?

L1:(1) To indemnify and hold harmless the Government, its agents, and employees from every claim or liability, including

L0:attorneys fees, court costs, and expenses, arising out of, or in any way related to, the misuse or unauthorized modification,

L0:reproduction, release, performance, display, or disclosure of technical data or computer software received from the

L0:Government with restrictive legends by the Contractor or any person to whom the Contractor has released or

disclosed

L0:such data or software; and

L1:(2) That the party whose name appears on the restrictive legend, in addition to any other rights it may have, is a third-party

L0:beneficiary who has the right of direct action against the Contractor, or any person to whom the Contractor has released or

L0:disclosed such data or software, for the unauthorized duplication, release, or disclosure of technical data or computer

L0:software subject to restrictive legends.

L1:(d) The Contractor shall ensure that its employees are subject to use and nondisclosure obligations consistent with this

L0:clause prior to the employees being provided access to or use of any GFI covered by this clause.

L0:(End of clause)

252.227-7026 Deferred Delivery of Technical Data or Computer Software

Status: active

L0:252.227-7026 Deferred Delivery of Technical Data or Computer Software.

L0:As prescribed at 227.7103-8 (a), use the following clause:

L0:DEFERRED DELIVERY OF TECHNICAL DATA OR COMPUTER SOFTWARE (APR 1988)

L0:The Government shall have the right to require, at any time during the performance of this contract, within two (2) years

L0:after either acceptance of all items (other than data or computer software) to be delivered under this contract or termination

L0:of this contract, whichever is later, delivery of any technical data or computer software item identified in this contract as

L0:?deferred delivery? data or computer software. The obligation to furnish such technical data required to be prepared by a

L0:subcontractor and pertaining to an item obtained from him shall expire two (2) years after the date Contractor accepts the

L0:last delivery of that item from that subcontractor for use in performing this contract.

L0:(End of clause)

252.227-7027 Deferred Ordering of Technical Data or Computer Software

Status: active

L0:252.227-7027 Deferred Ordering of Technical Data or Computer Software.

L0:As prescribed at 227.7103-8 (b), use the following clause:

L0:DEFERRED ORDERING OF TECHNICAL DATA OR COMPUTER SOFTWARE (APR 1988)

L0:In addition to technical data or computer software specified elsewhere in this contract to be delivered hereunder, the

L0:Government may, at any time during the performance of this contract or within a period of three (3) years after acceptance

L0:of all items (other than technical data or computer software) to be delivered under this contract or the termination of

this

L0:contract, order any technical data or computer software generated in the performance of this contract or any subcontract

L0:hereunder. When the technical data or computer software is ordered, the Contractor shall be compensated for converting

L0:the data or computer software into the prescribed form, for reproduction and delivery. The obligation to deliver the

L0:technical data of a subcontractor and pertaining to an item obtained from him shall expire three (3) years after the date the

L0:Contractor accepts the last delivery of that item from that subcontractor under this contract. The Government's rights to use

L0:said data or computer software shall be pursuant to the "Rights in Technical Data and Computer Software" clause of this

L0:contract.

L0:(End of clause)

252.227-7028 Technical Data or Computer Software Previously Delivered to the Government

Status: active

L0:252.227-7028 Technical Data or Computer Software Previously Delivered to the Government.

L0:As prescribed in 227.7103-6(d), 227.7104-4(b)(5), or 227.7203-6(e), use the following provision:

L0:TECHNICAL DATA OR COMPUTER SOFTWARE PREVIOUSLY DELIVERED TO THE GOVERNMENT (JUN 1995)

L0:The Offeror shall attach to its offer an identification of all documents or other media incorporating technical data or

L0:computer software it intends to deliver under this contract with other than unlimited rights that are identical or substantially

L0:similar to documents or other media that the Offeror has produced for, delivered to, or is obligated to deliver to the

L0:Government under any contract or subcontract. The attachment shall identify?

L1:(a) The contract number under which the data or software were produced;

L1:(b) The contract number under which, and the name and address of the organization to whom, the data or software were

L0:most recently delivered or will be delivered; and

L1:(c) Any limitations on the Government's rights to use or disclose the data or software, including, when applicable,

L0:identification of the earliest date the limitations expire.

L0:(End of provision)

252.227-7030 Technical Data?Withholding of Payment

Status: active

L0:252.227-7030 Technical Data?Withholding of Payment.

L0:As prescribed at 227.7103-6(e)(2) or 227.7104-4(b)(6), use the following clause:

L0:TECHNICAL DATA?WITHHOLDING OF PAYMENT (MAR 2000)

L1:(a) If technical data specified to be delivered under this contract, is not delivered within the time specified by this

contract

L0:or is deficient upon delivery (including having restrictive markings not identified in the list described in the clause at

252.227-7032 Rights in Technical Data and Computer Software (Foreign)

Status: active

L0:252.227-7032 Rights in Technical Data and Computer Software (Foreign).

L0:As prescribed in 227.7103-17 , use the following clause:

L0:RIGHTS IN TECHNICAL DATA AND COMPUTER SOFTWARE (FOREIGN) (JUN 1975)

L0:The United States Government may duplicate, use, and disclose in any manner for any purposes whatsoever, including

L0:delivery to other governments for the furtherance of mutual defense of the United States Government and other

L0:governments, all technical data including reports, drawings and blueprints, and all computer software, specified to be

L0:delivered by the Contractor to the United States Government under this contract.

L0:(End of clause)

252.227-7033 Rights in Shop Drawings

Status: active

L0:252.227-7033 Rights in Shop Drawings.

L0:As prescribed at 227.7107-1 (c), use the following clause:

L0:RIGHTS IN SHOP DRAWINGS (APR 1966)

L1:(a) Shop drawings for construction means drawings, submitted to the Government by the Construction Contractor,

L0:subcontractor or any lower-tier subcontractor pursuant to a construction contract, showing in detail (i) the proposed

L0:fabrication and assembly of structural elements and (ii) the installation (i.e., form, fit, and attachment details) of materials

L0:or equipment. The Government may duplicate, use, and disclose in any manner and for any purpose shop drawings

L0:delivered under this contract.

L1:(b) This clause, including this paragraph (b), shall be included in all subcontracts hereunder at any tier.

L0:(End of clause)

252.227-7037 Validation of Asserted Restrictions on Technical Data

Status: active

L0:252.227-7037 Validation of Asserted Restrictions on Technical Data.

L0:As prescribed in 227.7102-4(c), 227.7103-6(e)(3), 227.7104-4(b)(7), or 227.7203-6(f), use the following clause:

L0:VALIDATION OF ASSERTED RESTRICTIONS ON TECHNICAL DATA (JAN 2025)

L1:(a) Definitions. The terms used in this clause are defined in the Rights in Technical Data?Other Than Commercial

L0:Products and Commercial Services clause of this contract.

L1:(b) Commercial products or commercial services-presumption regarding development exclusively at private expense. The

L0:Contracting Officer will presume that the Contractor?s or a subcontractor?s asserted use or release restrictions with respect

L0:to a commercial product or commercial service are justified on the basis that the item was developed exclusively at private

L0:expense. The Contracting Officer will not issue a challenge unless there are reasonable grounds to question the validity of

L0:the assertion that the commercial product or commercial service was developed exclusively at private expense.

L1:(c) Justification. The Contractor or subcontractor at any tier is responsible for maintaining records sufficient to justify the

L0:validity of its asserted restrictions on the rights of the Government and others to use, duplicate, release, or disclose

L0:technical data delivered, required to be delivered, or otherwise provided to the Government under the contract or

L0:subcontract. Except as provided in paragraph (b) of this clause, the Contractor or subcontractor shall be prepared to furnish

L0:to the Contracting Officer a written justification for such asserted restrictions in response to a challenge under paragraph

L1:(e) of this clause.

L1:(d) Prechallenge request for information.

L1:(1) The Contracting Officer may request the Contractor or subcontractor to furnish a written explanation for any asserted

L0:restriction on the right of the United States or others to use, disclose, or release technical data. If, upon review of the

L0:explanation submitted, the Contracting Officer cannot determine the basis of the asserted restriction, the Contracting

L0:Officer may further request the Contractor or subcontractor to furnish additional information in the records of, or otherwise

L0:in the possession of or reasonably available to, the Contractor or subcontractor to justify the validity of any asserted

L0:restriction on technical data delivered, to be delivered, or otherwise provided to the Government under the contract or

L0:subcontract (e.g., a statement of facts accompanied with supporting documentation). The Contractor or subcontractor shall

L0:submit such written data as requested by the Contracting Officer within the time required or such longer period as may be

L0:mutually agreed.

L1:(2) If the Contracting Officer, after reviewing the written data furnished pursuant to paragraph (d)(1) of this clause, or any

L0:other available information pertaining to the validity of an asserted restriction, determines that reasonable grounds exist to

L0:question the current validity of the asserted restriction and that continued adherence to the asserted restriction would make

L0:impracticable the subsequent competitive acquisition of the item or process to which the technical data relates, the

L0:Contracting Officer will follow the procedures in paragraph (e) of this clause.

L1:(3) If the Contractor or subcontractor fails to respond to the Contracting Officer's request for information under paragraph

L1:(d)(1) of this clause, and the Contracting Officer determines that continued adherence to the asserted restriction would

L0:make impracticable the subsequent competitive acquisition of the item or process to which the technical data relates, the

L0:Contracting Officer may challenge the validity of the asserted restriction as described in paragraph (e) of this clause.

L1:(e) Challenge.

L1:(1) Notwithstanding any provision of this contract concerning inspection and acceptance, if the Contracting Officer determines that a challenge to the asserted restriction is warranted, the Contracting Officer will send a written challenge

L0:notice to the Contractor or subcontractor making the asserted restriction. The challenge notice and all related correspondence shall be subject to handling procedures for classified information and controlled unclassified information.

L0:Such challenge will?

L1:(i) State the specific grounds for challenging the asserted restriction including, for commercial products or commercial

L0:services, sufficient information to reasonably demonstrate that the commercial product or commercial service was not

L0:developed exclusively at private expense ;

L1:(ii) Require a response within 60 days justifying and providing sufficient evidence as to the current validity of the asserted

L0:restriction;

L1:(iii) State that a DoD Contracting Officer's final decision, issued pursuant to paragraph (g) of this clause, sustaining the

L0:validity of a prior asserted restrictionrestrictive marking identical to the current asserted restriction, within the three3-year

L0:period preceding the current challenge, shall serve as justification for the current asserted restriction if the prior validated

L0:restriction was asserted by the same Contractor or subcontractor (or any licensee of such Contractor or subcontractor) to

L0:which such notice is being provided; and

L1:(iv) State that failure to respond to the challenge notice may result in issuance of a final decision pursuant to paragraph (f)

L0:of this clause.

L1:(2) The Contracting Officer will extend the time for response as appropriate if the Contractor or subcontractor submits a

L0:written request showing the need for additional time to prepare a response.

L1:(3) The Contractor's or subcontractor's written response shall be considered a claim within the meaning of 41 U.S.C. 7101,

L0:Contract Disputes, and shall be certified in the form prescribed at 33.207 of the Federal Acquisition Regulation, regardless

L0:of dollar amount.

L1:(4) A Contractor or subcontractor receiving challenges to the same asserted restrictions from more than one Contracting

L0:Officer shall notify each Contracting Officer of the existence of more than one challenge. The notice shall also state which

L0:Contracting Officer initiated the first in time unanswered challenge. The Contracting Officer initiating the first in time

L0:unanswered challenge after consultation with the Contractor or subcontractor and the other Contracting Officers, will

L0:formulate and distribute a schedule for responding to each of the challenge notices to all interested parties. The schedule

L0:will afford the Contractor or subcontractor an opportunity to respond to each challenge notice. All parties will be bound by

L0:this schedule.

L1:(f) Final decision when Contractor or subcontractor fails to respond.Upon a failure of a Contractor or subcontractor to

L0:submit any response to the challenge notice the Contracting Officer will issue a final decision to the Contractor or

L0:subcontractor in accordance with the Disputes clause of this contract. In order to sustain the challenge for commercial

L0:products or commercial services, the Contracting Officer will provide information demonstrating that the commercial

L0:product or commercial service was not developed exclusively at private expense . This final decision will be issued as soon

L0:as possible after the expiration of the time period of paragraph (e)(1)(ii) or (e)(2) of this clause. Following issuance of the

L0:final decision, the Contracting Officer will comply with the procedures in paragraphs (g)(2)(ii) through (iv) of this clause.

L1:(g) Final decision when Contractor or subcontractor responds.

L1:(1) If the Contracting Officer determines that the Contractor or subcontractor has justified the validity of the asserted

L0:restriction, the Contracting Officer will issue a final decision to the Contractor or subcontractor that sustains the validity of

L0:the asserted restriction, and that states that the Government will continue to be bound by the asserted restriction. The

L0:Contracting Officer will issue this final decision within 60 days after receipt of the Contractor's or subcontractor's response

L0:to the challenge notice, or within such longer period that the Contracting Officer has notified the Contractor or

L0:subcontractor that the Government will require. The Contracting Officer will provide notification of any longer period for

L0:issuance of a final decision within 60 days after receipt of the response to the challenge notice.

L1:(2)(i) If the Contracting Officer determines that the validity of the asserted restriction is not justified, the Contracting

L0:Officer will issue a final decision to the Contractor or subcontractor in accordance with the Disputes clause of this contract.

L0:To sustain the challenge for commercial products or commercial services, the Contracting Officer will provide information

L0:demonstrating that the commercial product or commercial service was not developed exclusively at private expense.

L0:Notwithstanding paragraph (e) of the Disputes clause, the final decision will be issued within 60 days after receipt of the

L0:Contractor's or subcontractor's response to the challenge notice, or within such longer period that the Contracting Officer

L0:has notified the Contractor or subcontractor that the Government will require. The notification of a longer period for

L0:issuance of a final decision will be made within 60 days after receipt of the response to the challenge notice.

L1:(ii) The Government agrees that it will continue to be bound by the asserted restriction for a period of 90 days from the

L0:issuance of the Contracting Officer's final decision under paragraph (g)(2)(i) of this clause. The Contractor or

L0:subcontractor agrees that, if it intends to file suit in the United States Court of Federal Claims, it will provide a notice of

L0:intent to file suit to the Contracting Officer within 90 days from the issuance of the Contracting Officer's final decision

L0:under paragraph (g)(2)(i) of this clause. If the Contractor or subcontractor fails to appeal, file suit, or provide a notice of

L0:intent to file suit to the Contracting Officer within the 90-day period, the Government may cancel or ignore the

restrictive

L0:markings that are based on the asserted restrictions, and the failure of the Contractor or subcontractor to take the required

L0:action constitutes agreement with such Government action.

L1:(iii) The Government agrees that it will continue to be bound by the asserted restriction where a notice of intent to file suit

L0:in the United States Court of Federal Claims is provided to the Contracting Officer within 90 days from the issuance of the

L0:final decision under paragraph (g)(2)(i) of this clause. The Government will no longer be bound, and the Contractor or

L0:subcontractor agrees that the Government may strike or ignore the restrictive marking that is based on the asserted L0:restriction, if the Contractor or subcontractor fails to file its suit within 1 year after issuance of the final decision.

L0:Notwithstanding the foregoing, where the head of an agency determines, on a nondelegable basis, that urgent or compelling

L0:circumstances will not permit waiting for the filing of a suit in the United States Court of Federal Claims , the Contractor

L0:or subcontractor agrees that the agency may, following notice to the Contractor or subcontractor, authorize release or

L0:disclosure of the technical data. Such agency determination may be made at any time after issuance of the final decision

L0:and will not affect the Contractor's or subcontractor's right to damages against the United States where its asserted L0:restrictions are ultimately upheld or to pursue other relief, if any, as may be provided by law.

L1:(iv) The Government agrees that it will be bound by the asserted restrictions where an appeal or suit is filed pursuant to the

L0:Contract Disputes statute until final disposition by an agency Board of Contract Appeals or the United States Court of

L0:Federal Claims. Notwithstanding the foregoing, where the head of an agency determines, on a nondelegable basis,

L0:following notice to the Contractor that urgent or compelling circumstances will not permit awaiting the decision by such

L0:Board of Contract Appeals or the United States Court of Federal Claims, the Contractor or subcontractor agrees that the

L0:agency may authorize release or disclosure of the technical data. Such agency determination may be made at any time after

L0:issuance of the final decision and will not affect the Contractor's or subcontractor's right to damages against the United

L0:States where its asserted restrictions are ultimately upheld or to pursue other relief, if any, as may be provided by law.

L1:(h) Final disposition of appeal or suit.

L1:(1) If the Contractor or subcontractor appeals or files suit and if, upon final disposition of the appeal or suit, the

L0:Contracting Officer's decision is sustained?

L1:(i) The restrictive marking that is based on the asserted restriction on the technical data shall be cancelled, corrected, or

L0:ignored; and

L1:(ii) If the asserted restriction is found not to be substantially justified, the Contractor or subcontractor, as appropriate, shall

L0:be liable to the Government for payment of the cost to the Government of reviewing the asserted restriction and the fees

L0:and other expenses (as defined in 28 U.S.C. 2412(d)(2)(A)) incurred by the Government in challenging the asserted L0:restriction, unless special circumstances would make such payment unjust.

L1:(2) If the Contractor or subcontractor appeals or files suit and if, upon final disposition of the appeal or suit, the

L0:Contracting Officer's decision is not sustained?

L1:(i) The Government will continue to be bound by the restrictive marking; and

L1:(ii) The Government will be liable to the Contractor or subcontractor for payment of fees and other expenses (as defined in

L0:28 U.S.C. 2412(d)(2)(A)) incurred by the Contractor or subcontractor in defending the marking, if the challenge by the

L0:Government is found not to have been made in good faith.

L1:(i) Duration of right to challenge.

L1:(1) The Government may review the validity of any restriction on technical data, delivered or to be delivered under a L0:contract, asserted by the Contractor or subcontractor. During the period within 6 years of final payment on a contract or

L0:within 6 years of delivery of the technical data to the Government, whichever is later, the Contracting Officer may review

L0:and make a written determination to challenge the restriction. The Government may, however, challenge a restriction on the

L0:release, disclosure, or use of technical data at any time if such technical data?

L1:(i) Are publicly available;

L1:(ii) Have been furnished to the United States without restriction;

L1:(iii) Have been otherwise made available without restriction; or

L1:(iv) Are the subject of a fraudulently asserted use or release restriction.

L1:(2) Only the Contracting Officer's final decision resolving a formal challenge by sustaining the validity of a restrictive

L0:marking constitutes ?validation? as addressed in 10 U.S.C. 3785(c).

L1:(j) Decision not to challenge. A decision by the Government, or a determination by the Contracting Officer, to not

L0:challenge the restrictive marking or asserted restriction shall not constitute ?validation.?

L1:(k) Privity of contract. The Contractor or subcontractor agrees that the Contracting Officer may transact matters under this

L0:clause directly with subcontractors at any tier that assert restrictions. However, this clause neither creates nor implies

L0:privity of contract between the Government and subcontractor.

L1:(l) Flowdown. The Contractor or subcontractor agrees to insert this clause in contractual instruments, including

L0:subcontracts and other contractual instruments for commercial products or commercial services, with its subcontractors or

L0:suppliers at any tier requiring the delivery of technical data.

L0:(End of clause)

252.227-7038 Patent Rights?Ownership by the Contractor (Large Business)

Status: active

L0:252.227-7038 Patent Rights?Ownership by the Contractor (Large Business).

L0:As prescribed in 227.303 (2), use the following clause:

L0:PATENT RIGHTS?OWNERSHIP BY THE CONTRACTOR (LARGE BUSINESS) (JUN 2012)

L1:(a) Definitions. As used in this clause?

L0:?Invention? means?

L1:(1) Any invention or discovery that is or may be patentable or otherwise protectable under Title 35 of the United States

L0:Code; or

L1:(2) Any variety of plant that is or may be protectable under the Plant Variety Protection Act (7 U.S.C. 2321, et seq.).

L0:?Made??

L1:(1) When used in relation to any invention other than a plant variety, means the conception or first actual reduction to

L0:practice of the invention; or

L1:(2) When used in relation to a plant variety, means that the Contractor has at least tentatively determined that the variety

L0:has been reproduced with recognized characteristics.

L0:?Nonprofit organization? means?

L1:(1) A university or other institution of higher education;

L1:(2) An organization of the type described in the Internal Revenue Code at 26 U.S.C. 501(c)(3) and exempt from taxation

L0:under 26 U.S.C. 501(a); or

L1:(3) Any nonprofit scientific or educational organization qualified under a State nonprofit organization statute.

L0:?Practical application? means?

L1:(1)(i) To manufacture, in the case of a composition or product;

L1:(ii) To practice, in the case of a process or method; or

L1:(iii) To operate, in the case of a machine or system; and

L1:(2) In each case, under such conditions as to establish that?

L1:(i) The invention is being utilized; and

L1:(ii) The benefits of the invention are, to the extent permitted by law or Government regulations, available to the public on

L0:reasonable terms.

L0:?Subject invention? means any invention of the Contractor made in the performance of work under this contract.

L1:(b) Contractor?s rights.

L1:(1) Ownership. The Contractor may elect to retain ownership of each subject invention throughout the world in accordance

L0:with the provisions of this clause.

L1:(2) License.

L1:(i) The Contractor shall retain a nonexclusive royalty-free license throughout the world in each subject invention to which

L0:the Government obtains title, unless the Contractor fails to disclose the invention within the times specified in paragraph

L1:(c) of this clause. The Contractor?s license?

L1:(A) Extends to any domestic subsidiaries and affiliates within the corporate structure of which the Contractor is a part;

L1:(B) Includes the right to grant sublicenses to the extent the Contractor was legally obligated to do so at the time of contract

L0:award; and

L1:(C) Is transferable only with the approval of the agency, except when transferred to the successor of that part of the
L0:Contractor?s business to which the invention pertains.

L1:(ii) The agency?

L1:(A) May revoke or modify the Contractor?s domestic license to the extent necessary to achieve expeditious practical
L0:application of the subject invention pursuant to an application for an exclusive license submitted in accordance with
37

L0:CFR Part 404 and agency licensing regulations;

L1:(B) Will not revoke the license in that field of use or the geographical areas in which the Contractor has achieved
practical

L0:application and continues to make the benefits of the invention reasonably accessible to the public; and

L1:(C) May revoke or modify the license in any foreign country to the extent the Contractor, its licensees, or the
domestic

L0:subsidiaries or affiliates have failed to achieve practical application in that foreign country.

L1:(iii) Before revoking or modifying the license, the agency?

L1:(A) Will furnish the Contractor a written notice of its intention to revoke or modify the license; and

L1:(B) Will allow the Contractor 30 days (or such other time as the funding agency may authorize for good cause shown
by

L0:the Contractor) after the notice to show cause why the license should not be revoked or modified.

L1:(iv) The Contractor has the right to appeal, in accordance with 37 CFR Part 404 and agency regulations, concerning
the

L0:licensing of Government-owned inventions, any decision concerning the revocation or modification of the license.

L1:(c) Contractor?s obligations.

L1:(1) The Contractor shall?

L1:(i) Disclose, in writing, each subject invention to the Contracting Officer within 2 months after the inventor discloses it
in

L0:writing to Contractor personnel responsible for patent matters, or within 6 months after the Contractor first becomes
aware

L0:that a subject invention has been made, whichever is earlier;

L1:(ii) Include in the disclosure?

L1:(A) The inventor(s) and the contract under which the invention was made;

L1:(B) Sufficient technical detail to convey a clear understanding of the invention; and

L1:(C) Any publication, on sale (i.e., sale or offer for sale), or public use of the invention and whether a manuscript
describing

L0:the invention has been submitted for publication and, if so, whether it has been accepted for publication; and

L1:(iii) After submission of the disclosure, promptly notify the Contracting Officer of the acceptance of any manuscript

L0:describing the invention for publication and of any on sale or public use.

L1:(2) The Contractor shall elect in writing whether or not to retain ownership of any subject invention by notifying the

L0:Contracting Officer at the time of disclosure or within 8 months of disclosure, as to those countries (including the
United

L0:States) in which the Contractor will retain ownership. However, in any case where publication, on sale, or public use
has

L0:initiated the 1-year statutory period during which valid patent protection can be obtained in the United States, the
agency

L0:may shorten the period of election of title to a date that is no more than 60 days prior to the end of the statutory

period.

L1:(3) The Contractor shall?

L1:(i) File either a provisional or a nonprovisional patent application on an elected subject invention within 1 year after
L0:election, provided that in all cases the application is filed prior to the end of any statutory period wherein valid patent
L0:protection can be obtained in the United States after a publication, on sale, or public use;

L1:(ii) File a nonprovisional application within 10 months of the filing of any provisional application; and

L1:(iii) File patent applications in additional countries or international patent offices within either 10 months of the first
filed

L0:patent application (whether provisional or nonprovisional) or 6 months from the date the Commissioner of Patents
grants

L0:permission to file foreign patent applications where such filing has been prohibited by a Secrecy Order.

L1:(4) The Contractor may request extensions of time for disclosure, election, or filing under paragraphs (c)(1), (2), and
(3) of

L0:this clause. The Contracting Officer will normally grant the extension unless there is reason to believe the extension
would

L0:prejudice the Government's interests.

L1:(d) Government's rights.

L1:(1) Ownership. The Contractor shall assign to the agency, upon written request, title to any subject invention?

L1:(i) If the Contractor elects not to retain title to a subject invention;

L1:(ii) If the Contractor fails to disclose or elect the subject invention within the times specified in paragraph (c) of this
clause

L0:and the agency requests title within 60 days after learning of the Contractor's failure to report or elect within the
specified

L0:times;

L1:(iii) In those countries in which the Contractor fails to file patent applications within the times specified in paragraph
(c) of

L0:this clause, provided that, if the Contractor has filed a patent application in a country after the times specified in
paragraph

L1:(c) of this clause, but prior to its receipt of the written request of the agency, the Contractor shall continue to retain

L0:ownership in that country; and

L1:(iv) In any country in which the Contractor decides not to continue the prosecution of any application for, to pay the

L0:maintenance fees on, or defend in reexamination or opposition proceeding on, a patent on a subject invention.

L1:(2) License. If the Contractor retains ownership of any subject invention, the Government shall have a nonexclusive,
L0:nontransferable, irrevocable, paid-up license to practice, or have practiced for or on behalf of the United States, the
subject

L0:invention throughout the world.

L1:(e) Contractor action to protect the Government's interest.

L1:(1) The Contractor shall execute or have executed and promptly deliver to the agency all instruments necessary to?

L1:(i) Establish or confirm the rights the Government has throughout the world in those subject inventions in which the
L0:Contractor elects to retain ownership; and

L1:(ii) Assign title to the agency when requested under paragraph (d)(1) of this clause and enable the Government to
obtain

L0:patent protection for that subject invention in any country.

L1:(2) The Contractor shall?

L1:(i) Require, by written agreement, its employees, other than clerical and nontechnical employees, to?

L1:(A) Disclose each subject invention promptly in writing to personnel identified as responsible for the administration of
L0:patent matters, so that the Contractor can comply with the disclosure provisions in paragraph (c) of this clause; and
L1:(B) Provide the disclosure in the Contractor's format, which should require, as a minimum, the information required
by
L0:paragraph (c)(1) of this clause;
L1:(ii) Instruct its employees, through employee agreements or other suitable educational programs, as to the
importance of
L0:reporting inventions in sufficient time to permit the filing of patent applications prior to U.S. or statutory foreign bars;
and
L1:(iii) Execute all papers necessary to file patent applications on subject inventions and to establish the Government's
rights
L0:in the subject inventions.
L1:(3) The Contractor shall notify the Contracting Officer of any decisions not to file a nonprovisional patent application,
L0:continue the prosecution of a patent application, pay maintenance fees, or defend in a reexamination or opposition
L0:proceeding on a patent, in any country, not less than 30 days before the expiration of the response or filing period
required
L0:by the relevant patent office.
L1:(4) The Contractor shall include, within the specification of any United States nonprovisional patent application and
any
L0:patent issuing thereon covering a subject invention, the following statement: "This invention was made with
Government
L0:support under (identify the contract) awarded by (identify the agency). The Government has certain rights in this
L0:invention."
L1:(5) The Contractor shall?
L1:(i) Establish and maintain active and effective procedures to ensure that subject inventions are promptly identified
and
L0:disclosed to Contractor personnel responsible for patent matters;
L1:(ii) Include in these procedures the maintenance of?
L1:(A) Laboratory notebooks or equivalent records and other records as are reasonably necessary to document the
conception
L0:and/or the first actual reduction to practice of subject inventions; and
L1:(B) Records that show that the procedures for identifying and disclosing the inventions are followed; and
L1:(iii) Upon request, furnish the Contracting Officer a description of these procedures for evaluation and for
determination as
L0:to their effectiveness.
L1:(6) The Contractor shall, when licensing a subject invention, arrange to?
L1:(i) Avoid royalty charges on acquisitions involving Government funds, including funds derived through the
Government's
L0:Military Assistance Program or otherwise derived through the Government;
L1:(ii) Refund any amounts received as royalty charges on the subject inventions in acquisitions for, or on behalf of, the
L0:Government; and
L1:(iii) Provide for the refund in any instrument transferring rights in the invention to any party.
L1:(7) The Contractor shall furnish to the Contracting Officer the following:
L1:(i) Interim reports every 12 months (or any longer period as may be specified by the Contracting Officer) from the
date of

L0:the contract, listing subject inventions during that period and stating that all subject inventions have been disclosed or that

L0:there are no subject inventions.

L1:(ii) A final report, within 3 months after completion of the contracted work, listing all subject inventions or stating that L0:there were no subject inventions, and listing all subcontracts at any tier containing a patent rights clause or stating that

L0:there were no subcontracts.

L1:(8)(i) The Contractor shall promptly notify the Contracting Officer in writing upon the award of any subcontract at any tier

L0:containing a patent rights clause by identifying?

L1:(A) The subcontractor;

L1:(B) The applicable patent rights clause;

L1:(C) The work to be performed under the subcontract; and

L1:(D) The dates of award and estimated completion.

L1:(ii) The Contractor shall furnish, upon request, a copy of the subcontract, and no more frequently than annually, a listing of

L0:the subcontracts that have been awarded.

L1:(9) In the event of a refusal by a prospective subcontractor to accept one of the clauses specified in paragraph (l)(1) of this

L0:clause, the Contractor?

L1:(i) Shall promptly submit a written notice to the Contracting Officer setting forth the subcontractor's reasons for the refusal

L0:and other pertinent information that may expedite disposition of the matter; and

L1:(ii) Shall not proceed with that subcontract without the written authorization of the Contracting Officer.

L1:(10) The Contractor shall provide to the Contracting Officer, upon request, the following information for any subject L0:invention for which the Contractor has retained ownership:

L1:(i) Filing date.

L1:(ii) Serial number and title.

L1:(iii) A copy of any patent application (including an English-language version if filed in a language other than English).

L1:(iv) Patent number and issue date.

L1:(11) The Contractor shall furnish to the Government, upon request, an irrevocable power to inspect and make copies of any

L0:patent application file.

L1:(f) Reporting on utilization of subject inventions.

L1:(1) The Contractor shall?

L1:(i) Submit upon request periodic reports no more frequently than annually on the utilization of a subject invention or on

L0:efforts in obtaining utilization of the subject invention that are being made by the Contractor or its licensees or assignees;

L1:(ii) Include in the reports information regarding the status of development, date of first commercial sale or use, gross L0:royalties received by the Contractor, and other information as the agency may reasonably specify; and

L1:(iii) Provide additional reports that the agency may request in connection with any march-in proceedings undertaken by the

L0:agency in accordance with paragraph (h) of this clause.

L1:(2) To the extent permitted by law, the agency shall not disclose the information provided under paragraph (f)(1) of

this

L0:clause to persons outside the Government without the Contractor's permission, if the data or information is considered by

L0:the Contractor or its licensee or assignee to be "privileged and confidential" (see 5 U.S.C. 552(b)(4)) and is so marked.

L1:(g) Preference for United States industry. Notwithstanding any other provision of this clause, the Contractor agrees that

L0:neither the Contractor nor any assignee shall grant to any person the exclusive right to use or sell any subject invention in

L0:the United States unless the person agrees that any products embodying the subject invention or produced through the use

L0:of the subject invention will be manufactured substantially in the United States. However, in individual cases, the agency

L0:may waive the requirement for an exclusive license agreement upon a showing by the Contractor or its assignee that?

L1:(1) Reasonable but unsuccessful efforts have been made to grant licenses on similar terms to potential licensees that would

L0:be likely to manufacture substantially in the United States; or

L1:(2) Under the circumstances, domestic manufacture is not commercially feasible.

L1:(h) March-in rights. The Contractor acknowledges that, with respect to any subject invention in which it has retained

L0:ownership, the agency has the right to require licensing pursuant to 35 U.S.C. 203 and 210(c), 37 CFR 401.6, and any

L0:supplemental regulations of the agency in effect on the date of contract award.

L1:(i) Other inventions. Nothing contained in this clause shall be deemed to grant to the Government any rights with respect to

L0:any invention other than a subject invention.

L1:(j) Examination of records relating to inventions.

L1:(1) The Contracting Officer or any authorized representative shall, until 3 years after final payment under this contract,

L0:have the right to examine any books (including laboratory notebooks), records, and documents of the Contractor relating to

L0:the conception or first reduction to practice of inventions in the same field of technology as the work under this contract to

L0:determine whether?

L1:(i) Any inventions are subject inventions;

L1:(ii) The Contractor has established procedures required by paragraph (e)(5) of this clause; and

L1:(iii) The Contractor and its inventors have complied with the procedures.

L1:(2) If the Contracting Officer learns of an unreported Contractor invention that the Contracting Officer believes may be a

L0:subject invention, the Contractor shall be required to disclose the invention to the agency for a determination of ownership

L0:rights.

L1:(3) Any examination of records under this paragraph (j) shall be subject to appropriate conditions to protect the

L0:confidentiality of the information involved.

L1:(k) Withholding of payment (this paragraph does not apply to subcontracts).

L1:(1) Any time before final payment under this contract, the Contracting Officer may, in the Government's interest, withhold

L0:payment until a reserve not exceeding \$50,000 or 5 percent of the amount of the contract, whichever is less, is set aside if,

L0:in the Contracting Officer's opinion, the Contractor fails to?

L1:(i) Establish, maintain, and follow effective procedures for identifying and disclosing subject inventions pursuant to L0:paragraph (e)(5) of this clause;

L1:(ii) Disclose any subject invention pursuant to paragraph (c)(1) of this clause;

L1:(iii) Deliver acceptable interim reports pursuant to paragraph (e)(7)(i) of this clause; or

L1:(iv) Provide the information regarding subcontracts pursuant to paragraph (e)(8) of this clause.

L1:(2) The reserve or balance shall be withheld until the Contracting Officer has determined that the Contractor has rectified

L0:whatever deficiencies exist and has delivered all reports, disclosures, and other information required by this clause.

L1:(3) The Government will not make final payment under this contract before the Contractor delivers to the Contracting L0:Officer?

L1:(i) All disclosures of subject inventions required by paragraph (c)(1) of this clause;

L1:(ii) An acceptable final report pursuant to paragraph (e)(7)(ii) of this clause; and

L1:(iii) All past due confirmatory instruments.

L1:(4) The Contracting Officer may decrease or increase the sums withheld up to the maximum authorized in paragraph (k)(1)

L0:of this clause. No amount shall be withheld under this paragraph while the amount specified by this paragraph is being

L0:withheld under other provisions of the contract. The withholding of any amount or the subsequent payment thereof shall

L0:not be construed as a waiver of any Government right.

L1:(l) Subcontracts.

L1:(1) The Contractor?

L1:(i) Shall include the substance of the Patent Rights?Ownership by the Contractor clause set forth at 52.227-11 of the L0:Federal Acquisition Regulation (FAR), in all subcontracts for experimental, developmental, or research work to be L0:performed by a small business concern or nonprofit organization; and

L1:(ii) Shall include the substance of this clause, including this paragraph (l), in all other subcontracts for experimental, L0:developmental, or research work, unless a different patent rights clause is required by FAR 27.303.

L1:(2) For subcontracts at any tier?

L1:(i) The patents rights clause included in the subcontract shall retain all references to the Government and shall provide to

L0:the subcontractor all the rights and obligations provided to the Contractor in the clause. The Contractor shall not, as L0:consideration for awarding the subcontract, obtain rights in the subcontractor's subject inventions; and

L1:(ii) The Government, the Contractor, and the subcontractor agree that the mutual obligations of the parties created by this

L0:clause constitute a contract between the subcontractor and the Government with respect to those matters covered by this

L0:clause. However, nothing in this paragraph is intended to confer any jurisdiction under the Contract Disputes statute in

L0:connection with proceedings under paragraph (h) of this clause.

L0:(End of clause)

L0:ALTERNATE I (DEC 2007).

L0:As prescribed in 227.303 (2)(ii), add the following paragraph (b)(2)(v) to the basic clause:

L1:(v) The license shall include the right of the Government to sublicense foreign governments, their nationals, and

L0:international organizations pursuant to the following treaties or international agreements: _____*.

L0:[* Contracting Officer to complete with the names of applicable existing treaties or international agreements. This

L0:paragraph is not intended to apply to treaties or agreements that are in effect on the date of the award but are not listed.]

L0:ALTERNATE II (DEC 2007).

L0:As prescribed in 227.303 (2)(iii), add the following paragraph (b)(2)(v) to the basic clause:

L1:(v) The agency reserves the right to?

L1:(A) Unilaterally amend this contract to identify specific treaties or international agreements entered into or to be entered

L0:into by the Government after the effective date of this contract; and

L1:(B) Exercise those license or other rights that are necessary for the Government to meet its obligations to foreign

L0:governments, their nationals, and international organizations under any treaties or international agreement with respect to

L0:subject inventions made after the date of the amendment.

252.227-7039 Patents?Reporting of Subject Inventions

Status: active

L0:252.227-7039 Patents?Reporting of Subject Inventions.

L0:As prescribed in 227.303 (1), use the following clause:

L0:PATENTS?REPORTING OF SUBJECT INVENTIONS (APR 1990)

L0:The Contractor shall furnish the Contracting Officer the following:

L1:(a) Interim reports every twelve (12) months (or such longer period as may be specified by the Contracting Officer) from

L0:the date of the contract, listing subject inventions during that period and stating that all subject inventions have been

L0:disclosed or that there are no such inventions.

L1:(b) A final report, within three (3) months after completion of the contracted work, listing all subject inventions or stating

L0:that there were no such inventions.

L1:(c) Upon request, the filing date, serial number and title, a copy of the patent application and patent number, and issue data

L0:for any subject invention for which the Contractor has retained title.

L1:(d) Upon request, the Contractor shall furnish the Government an irrevocable power to inspect and make copies of the

L0:patent application file.

L0:(End of clause)

252.227-7040 Additional Preaward Requirements for Small Business Technology Transfer Program

Status: active

L0:252.227-7040 Additional Preaward Requirements for Small Business Technology Transfer Program.

L0:As prescribed in 227.7104-4(c)(1), use the following provision:

L0:ADDITIONAL PREAWARD REQUIREMENTS FOR SMALL BUSINESS TECHNOLOGY TRANSFER PROGRAM

L0:(JAN 2025)

L1:(a) Definitions. As used in this provision, the terms "research institution" and "United States" have the meaning given in

L0:the 252.227-7041, Additional Postaward Requirements for Small Business Technology Transfer Program, clause of this

L0:solicitation.

L1:(b) Offers submitted in response to this solicitation shall include the following:

L1:(1) The written agreement between the Offeror and a research institution, which shall contain?

L1:(i) A specific allocation of ownership, rights, and responsibilities for intellectual property (including inventions, patents,

L0:technical data, and computer software) resulting from the Small Business Technology Transfer (STTR) Program award;

L1:(ii) Identification of which party to the written agreement may obtain United States or foreign patents or otherwise protect

L0:any inventions that result from a STTR award; and

L1:(iii) No terms or conditions that conflict with the requirements of the clause at 252.227-7018, Rights in Other Than

L0:Commercial Technical Data and Computer Software-Small Business Innovation Research Program and Small Business

L0:Technology Transfer Program, or this provision, including the rights of the United States, the Offeror, and the research

L0:institution regarding intellectual property, and regarding any right to carry out follow-on research.

L1:(2) The Offeror's written representation that?

L1:(i) The Offeror is satisfied with its written agreement with the research institution; and

L1:(ii) The written agreement does not conflict with the requirements of this solicitation.

L1:(c) The Offeror shall submit the written representation required by paragraph (b)(2) of this provision as an attachment to its

L0:offer, dated and signed by an official authorized to contractually obligate the Offeror.

L1:(d) The Offeror's failure to submit the written agreement or written representation required by paragraph (b) of this

L0:provision with its offer may render the offer ineligible for award.

L1:(e) If the Offeror is awarded a contract, the Contracting Officer will include the written agreement and written

L0:representation required by paragraph (b) of this provision in an attachment to that contract.

L0:(End of provision)

252.227-7041 Additional Postaward Requirements for Small Business Technology Transfer Program

Status: active

L0:252.227-7041 Additional Postaward Requirements for Small Business Technology Transfer Program.

L0:As prescribed in 227.7104-4(c)(2), use the following clause:

L0:ADDITIONAL POSTAWARD REQUIREMENTS FOR SMALL BUSINESS TECHNOLOGY TRANSFER PROGRAM

L0:(JAN 2025)

L1:(a) Definitions. As used in this clause?

L0:Research institution? means an institution or entity that?

L1:(1) Has a place of business located in the United States;

L1:(2) Operates primarily within the United States or makes a significant contribution to the U.S. economy through payment

L0:of taxes or use of American products, materials, or labor; and

L1:(3) Is either?

L1:(i) A nonprofit institution that is owned and operated exclusively for scientific or educational purposes, no part of the net

L0:earnings of which inures to the benefit of any private shareholder or individual (section 4(3) of the Stevenson-Wydler

L0:Technology Innovation Act of 1980); or

L1:(ii) A federally-funded research or research and development center as identified by the National Science Foundation

L0:(<https://www.nsf.gov/statistics/ffrdclist/>) in accordance with the guidance at Federal Acquisition Regulation 35.017.

L0:United States? means the 50 States and the District of Columbia, the territories and possessions of the Government, the

L0:Commonwealth of Puerto Rico, the Republic of the Marshall Islands, the Federated States of Micronesia, and the Republic

L0:of Palau.

L1:(b) Preaward submissions. Attached to this contract are the following documents, submitted by the Contractor pursuant to

L0:Defense Federal Acquisition Regulation Supplement (DFARS) 252.227-7040, Additional Preaward Requirements for L0:Small Business Technology Transfer Program:

L1:(1) The written agreement between the Contractor and a research institution.

L1:(2) The Contractor?s written representation that the Contractor is satisfied with that written agreement, which does not

L0:conflict with the clause at DFARS 252.227-7018, Rights in Other Than Commercial Technical Data and Computer

L0:Software-Small Business Innovation Research Program and Small Business Technology Transfer Program, or this clause.

L1:(c) Postaward updates. The Contractor shall not allow any modification to its written agreement with the research L0:institution, unless the written agreement, as modified, contains?

L1:(1) A specific allocation of ownership, rights, and responsibilities for intellectual property (including inventions, patents,

L0:technical data, and computer software) resulting from performance of this contract;

L1:(2) Identification of which party to the written agreement may obtain United States or foreign patents or otherwise protect

L0:any inventions that result from a Small Business Technology Transfer Program award;

L1:(3) The Contractor?s written, dated, and signed representation that?

L1:(i) The Contractor is satisfied with its written agreement with the research institution, as modified; and

L1:(ii) The written agreement, as modified, does not conflict with the clause at DFARS 252.227-7018, Rights in Other Than

L0:Commercial Technical Data and Computer Software-Small Business Innovation Research Program and Small Business

L0:Technology Transfer Program, or this clause; and

L1:(4) No terms and conditions that conflict with the clause at DFARS 252.227-7018, Rights in Other Than Commercial

L0:Technical Data and Computer Software-Small Business Innovation Research Program and Small Business Technology

L0:Transfer Program, or this clause, including the rights of the United States, the Contractor, and the research institution

L0:regarding intellectual property, and regarding any right to carry out follow-on research.

L1:(d) Submission of updated agreement. Within 30 days of execution of the modified written agreement described in

L0:paragraph (b)(1) of this clause, the Contractor shall submit a copy of that updated written agreement and the updated

L0:written representation described in paragraph (b)(2) of this clause to the Contracting Officer for review and attachment to

L0:this contract.

L0:(End of clause)

252.228-7000 Reimbursement for War-Hazard Losses

Status: active

L0:252.228-7000 Reimbursement for War-Hazard Losses.

L0:As prescribed in 228.371 (a), use the following clause:

L0:REIMBURSEMENT FOR WAR-HAZARD LOSSES (DEC 1991)

L1:(a) Costs for providing employee war-hazard benefits in accordance with paragraph (b) of the Workers' Compensation and

L0:War-Hazard Insurance clause of this contract are allowable if the Contractor?

L1:(1) Submits proof of loss files to support payment or denial of each claim;

L1:(2) Subject to Contracting Officer approval, makes lump sum final settlement of any open claims and obtains necessary

L0:release documents within one year of the expiration or termination of this contract, unless otherwise extended by the

L0:Contracting Officer; and

L1:(3) Provides the Contracting Officer at the time of final settlement of this contract?

L1:(i) An investigation report and evaluation of any potential claim; and

L1:(ii) An estimate of the dollar amount involved should the potential claim mature.

L1:(b) The cost of insurance for liabilities reimbursable under this clause is not allowable.

L1:(c) The Contracting Officer may require the Contractor to assign to the Government all right, title, and interest to any

L0:refund, rebate, or recapture arising out of any claim settlements.

L1:(d) The Contractor agrees to?

L1:(1) Investigate and promptly notify the Contracting Officer in writing of any occurrence which may give rise to a claim or

L0:potential claim, including the estimated amount of the claim;

L1:(2) Give the Contracting Officer immediate written notice of any suit or action filed which may result in a payment under

L0:this clause; and

L1:(3) Provide assistance to the Government in connection with any third party suit or claim relating to this clause which the

L0:Government elects to prosecute or defend in its own behalf.

L0:(End of clause)

252.228-7001 Ground and Flight Risk

Status: active

L0:252.228-7001 Ground and Flight Risk.

L0:As prescribed in 228.371 (b), use the following clause:

L0:GROUND AND FLIGHT RISK (MAR 2023)

L1:(a) Definitions. As used in this clause?

L0:“Aircraft” means, unless otherwise provided in the contract Schedule, any item, other than a rocket or missile, intended for

L0:flight (e.g., fixed-winged aircraft, blended wing/lifting bodies, helicopters, vertical take-off or landing aircraft, lighter-than-air airships, and unmanned aerial vehicles), including emerging technologies that would commonly be considered aircraft.

L0:New production articles become aircraft at a stage of manufacture or production when a wing, portion of a wing, or engine

L0:is attached to a fuselage. Blended wing/lifting bodies become aircraft at a stage of manufacture or production when the

L0:center portion and a lifting surface become attached.

L0:“Contractor’s managerial personnel” means the Contractor’s directors, officers, managers, superintendents, or equivalent

L0:representatives who have supervision or direction of?

L1:(1) All, or substantially all, of the Contractor’s business;

L1:(2) All, or substantially all, of the Contractor’s operation at any one plant or separate location; or

L1:(3) A separate and complete major industrial operation.

L0:“Contractor’s premises” means those premises, including subcontractors’ premises, designated in the Schedule or in writing

L0:by the Contracting Officer, and any other place the aircraft is moved for safeguarding.

L0:“Covered aircraft” means an aircraft owned by or to be delivered to the Government and, when determined by the L0:contracting officer and specifically identified as such in the contract Schedule, may include contractor-furnished aircraft

L0:that are not intended for induction into the DoD inventory, including?

L1:(1) Aircraft furnished by the Government to the Contractor under this contract while in the Contractor’s possession, care,

L0:custody, or control regardless of their location or state of disassembly or reassembly;

L1:(2) Items removed from a Government-furnished aircraft that are?

L1:(i) Intended for reinstallation on that particular aircraft, which retain their status as covered aircraft while awaiting

L0:installation; and

L1:(ii) Not intended for reinstallation on that particular aircraft, which lose their status as covered aircraft once removal is

L0:complete;

L1:(3) New production aircraft when wholly outside of buildings on the Contractor’s premises or other places described in the

L0:Schedule (e.g., hush houses, run stations, and paint facilities); and

L1:(4) Commercial aircraft, to include commercially available off-the-shelf aircraft, become covered aircraft when the

L0:commercial aircraft arrives at the Contractor’s place of performance for modification under the terms of the contract.

L0:“Crewmember” means, unless otherwise provided in the Schedule, personnel required in the flight manual,

assigned for the

L0:purpose of conducting any flight on behalf of the Contractor. It also includes any operator of an unmanned aerial vehicle.

L0:?"Flight?" means any flight approved in writing by the Government flight representative, to include taxi test made in the

L0:performance of this contract, or flight for the purpose of safeguarding the aircraft. All aircraft off the Contractor's premises

L0:shall be considered to be in flight when on the ground or water for reasonable periods of time following emergency

L0:landings, landings made in performance of the contract, or landings approved in writing by the contracting officer.

L0:?"Workmanship error?" means damage to the aircraft that is the result of an incorrectly performed skill-based task, operation,

L0:or action that was originally planned or intended.

L1:(b) Combined regulation/instruction. The Contractor shall be bound by the operating procedures contained in the combined

L0:regulation/instruction entitled ?Contractor?s Flight and Ground Operations? (Air Force Instruction 10-220, Army

L0:Regulation 95-20, NAVAIR Instruction 3710.1 (Series), Coast Guard Instruction M13020.3 , and Defense Contract

L0:Management Agency Instruction 8210 - 1 (Series)) in effect on the date of contract award. Compliance with the combined

L0:regulation/instruction is required from the time of contract award throughout the period of performance of the contract,

L0:regardless of the Government?s assumption of risk under the contract.

L1:(c) Government as self-insurer. The Government self-insures and assumes the risk of damage to, or loss or destruction of,

L0:covered aircraft subject to the following conditions:

L1:(1) The Contractor?s liability to the Government for damage, loss, or destruction of covered aircraft is limited to the

L0:Contractor?s share of loss as defined at paragraph (h) of this clause, except when one of the exclusions at paragraph (d)

L0:applies.

L1:(2) The liability provisions of this clause take precedence over the liability provisions of Federal Acquisition Regulation

L1:(FAR) clause 52.245-1, Government Property, with respect to covered aircraft.

L1:(3) The Contractor is not liable for loss, damage, or destruction of covered aircraft as the result of normal wear and tear, or

L0:intentional damage or destruction as required in the Schedule.

L1:(4) Conditions for Government assumption of risk in flight are as follows:

L1:(i) The Contractor?s crewmembers are approved in writing by the Government flight representative(GFR).

L1:(ii) The flight is approved in writing by the GFR.

L1:(d) Exclusions from the Government?s assumption of risk. The Government's assumption of risk under this clause shall not

L0:extend to damage, loss, or destruction of covered aircraft which?

L1:(1) Is the result of willful misconduct or lack of good faith on the part of the Contractor?s managerial personnel, including

L0:the Contractor?s oversight of subcontractors;

L1:(2) Is sustained during flight if either the flight or the crewmembers have not been approved in advance and writing by the

L0:GFR, who has been authorized in accordance with the combined regulation/instruction entitled "Contractor's Flight and

L0:Ground Operations?;

L1:(3) Occurs in the course of transportation by rail, or by conveyance on public streets, highways, or waterways, unless the

L0:transportation is limited to the vicinity of the Contractor's premises, and incidental to work performed under the contract as

L0:described in the Schedule;

L1:(4) Is covered by insurance;

L1:(5) Occurs after the Contracting Officer has, in writing, revoked the Government's assumption of risk in accordance with

L0:paragraph (e)(3) of this clause; or

L1:(6) Is sustained due to workmanship errors.

L1:(e) Revoking the Government's assumption of risk .

L1:(1) The Contracting Officer, when finding that the Contractor's managerial personnel have failed to comply with paragraph

L1:(b) of this clause, will issue a preliminary notice of revocation requiring the Contractor to comply with contract

L0:requirements within a timeframe specified by the Contracting Officer. In determining exposure to unreasonable conditions,

L0:the Contracting Officer will consider factors including, but not limited to, the following: lack of adequate hangar fire

L0:suppression or firefighting vehicles, failure to provide adequate procedures to the GFR, or systemic failure to comply with

L0:approved procedures.

L1:(2) Upon receipt of the preliminary notice of revocation, the Contractor shall promptly correct the noncompliance or cited

L0:conditions, regardless of whether there is agreement that the conditions are unreasonable.

L1:(3) If the Contracting Officer finds that the Contractor failed to correct the cited noncompliance or conditions within the

L0:specified timeframe, the Contracting Officer will issue a notice of revocation of the Government's assumption of risk for

L0:any covered aircraft.

L1:(4) If the Contracting Officer issues a notice of revocation pursuant to the terms of this clause?

L1:(i) The Contractor shall thereafter assume the entire risk for damage, loss, or destruction of the previously covered aircraft;

L1:(ii) Any costs incurred by the Contractor (including the costs of the Contractor's self-insurance, insurance premiums paid

L0:to insure the Contractor's assumption of risk, deductibles associated with such purchased insurance, etc.) to mitigate its risk

L0:are unallowable costs; and

L1:(iii) The liability provisions of the clause at FAR 52.245-1, Government Property, are not applicable to the aircraft

L0:impacted by the notice of revocation.

L1:(5) The Contractor shall promptly notify the Contracting Officer when the noncompliance or cited conditions have been

L0:corrected. Within 3 days of receipt of the Contractor's notice of correction, the Contracting Officer will notify the

L0:Contractor whether the Government will resume risk of loss. The Contracting Officer will determine that the

L0:noncompliance or cited conditions have been corrected prior to resuming assumption of risk.

L1:(6) The notice of revocation does not relieve the Contractor of its obligation to comply with all other provisions of this L0:clause, including the combined regulation/instruction entitled "Contractor's Flight and Ground Operations."

L1:(7) Any disputes regarding the Contracting Officer's notice of revocation shall be subject to FAR clause 52.233-1, L0:Disputes.

L1:(f) Contractor's exclusion of insurance costs. The Contractor warrants that the contract price does not and will not include,

L0:except as may be authorized in this clause, any charge or contingency reserve for insurance (including the Contractor's

L0:share of loss) covering damage, loss, or destruction of covered aircraft when the risk has been assumed by the Government,

L0:even if the assumption may be terminated for covered aircraft.

L1:(g) Procedures in the event of damage, loss, or destruction .

L1:(1) In the event of damage, loss, or destruction of covered aircraft the Contractor shall take all reasonable steps to protect

L0:the aircraft from further damage, to separate damaged and undamaged aircraft and to put all aircraft in the best possible

L0:order. Except in cases covered by paragraph (h)(2) of this clause, the Contractor shall furnish to the Contracting Officer a

L0:statement of?

L1:(i) The damaged, lost, or destroyed aircraft;

L1:(ii) The time and origin of the damage, loss, or destruction;

L1:(iii) All known interests in commingled property of which aircraft are a part; and

L1:(iv) The insurance, if any, covering the interest in commingled property.

L1:(2) If a new production aircraft is damaged, lost, or destroyed before it has become a covered aircraft, the Government

L0:bears no responsibility for risk of loss.

L1:(3) If a new production aircraft is damaged, lost, or destroyed after it has become a covered aircraft, the Contractor shall

L0:take action in accordance with the Contracting Officer's written direction that the aircraft shall be?

L1:(i) Replaced;

L1:(ii) Repaired to the condition immediately prior to the damage; or

L1:(iii) Considered beyond economic repair. The Contracting Officer will decide whether further actions are required under

L0:the contract.

L1:(4) If a covered aircraft that has been furnished by the Government to the Contractor is damaged, lost, or destroyed while

L0:covered, the Contractor shall take action in accordance with the Contracting Officer's written direction that the aircraft

L0:shall be?

L1:(i) Repaired; or

L1:(ii) Considered beyond economic repair. The Contracting Officer will decide further actions required under the contract.

L1:(5) The Contracting Officer will make an equitable adjustment for expenditures made in performing the obligations under

L0:this paragraph (g).

L1:(h) Contractor's share of loss.

L1:(1) The Contractor's share of loss or damage to covered aircraft, except for loss or damage caused by negligence of

L0:Government personnel, is the least of?

L1:(i) \$200,000;

L1:(ii) 20 percent of the price or estimated acquisition cost of affected aircraft; or

L1:(iii) 20 percent of the price or estimated cost of the contract, task order, or delivery order.

L1:(2) If the Government requires covered aircraft be replaced or repaired by the Contractor, any resulting equitable

L0:adjustment shall not include reimbursement of the Contractor's share of loss.

L1:(3) In the event the Government does not decide to replace or repair, the Contractor agrees to credit the contract price or

L0:pay the Government, as directed by the Contracting Officer, the least of?

L1:(i) \$200,000;

L1:(ii) 20 percent of the price or estimated acquisition cost of affected aircraft; or

L1:(iii) 20 percent of the price or estimated cost of the contract, task order, or delivery order.

L1:(4) The costs incurred by the Contractor for its share of the loss and for insuring against that loss are unallowable costs,

L0:including but not limited to?

L1:(i) The Contractor's share of loss under the Government's self-insurance;

L1:(ii) The costs of the Contractor's self-insurance;

L1:(iii) The deductible for any Contractor-purchased insurance;

L1:(iv) Insurance premiums paid for Contractor-purchased insurance; and

L1:(v) Costs associated with determining, litigating, and defending against the Contractor's liability.

L1:(i) Reimbursement from a third party. In the event the Contractor is reimbursed or compensated by a third party for

L0:damage, loss, or destruction of covered aircraft and has also been compensated by the Government, the Contractor shall

L0:equitably reimburse the Government. The Contractor shall do nothing to prejudice the Government's right to recover

L0:against third parties for damage, loss, or destruction. Upon the request of the Contracting Officer or authorized

L0:representative, the Contractor shall at Government expense furnish to the Government all reasonable assistance and

L0:cooperation (including the prosecution of suit and the execution of instruments of assignment or subrogation) in obtaining

L0:recovery.

L1:(j) Liability to third parties. Unless the flight and crewmembers have been approved in writing by the GFR, the Contractor

L0:shall not be reimbursed for liability to third parties for loss or damage to property or for death or bodily injury caused by

L0:covered aircraft during flight, even if the Government has accepted such liability under any other provisions of the

L0:contract.

L1:(k) Subcontracts. The Contractor shall incorporate the requirements of this clause, including this paragraph (k), in

L0:subcontracts to include subcontracts for commercial products and commercial services, except?

L1:(1) The Contractor shall not include paragraph (f) of this clause in subcontracts for commercial products or commercial

L0:services; and

L1:(2) The Contractor shall not incorporate the requirements of this clause in subcontracts with Federal Aviation
L0:Administration (FAA) part 145 repair stations performing work pursuant to their FAA license.
L0:(End of clause)

252.228-7003 Capture and Detention

Status: active

L0:252.228-7003 Capture and Detention.

L0:As prescribed in 228.371 (c), use the following clause:

L0:CAPTURE AND DETENTION (DEC 1991)

L1:(a) As used in this clause?

L1:(1) ?Captured person? means any employee of the Contractor who is?

L1:(i) Assigned to duty outside the United States for the performance of this contract; and

L1:(ii) Found to be missing from his or her place of employment under circumstances that make it appear probable that
the

L0:absence is due to the action of the force of any power not allied with the United States in a common military effort; or

L1:(iii) Known to have been taken prisoner, hostage, or otherwise detained by the force of such power, whether or not
actually

L0:engaged in employment at the time of capture; provided, that at the time of capture or detention, the person was
either?

L1:(A) Engaged in activity directly arising out of and in the course of employment under this contract; or

L1:(B) Captured in an area where required to be only in order to perform this contract.

L1:(2) A ?period of detention? begins with the day of capture and continues until the captured person is returned to the
place

L0:of employment, the United States, or is able to be returned to the jurisdiction of the United States, or until the
person's

L0:death is established or legally presumed to have occurred by evidence satisfactory to the Contracting Officer,
whichever

L0:occurs first.

L1:(3) ?United States? comprises geographically the 50 states and the District of Columbia.

L1:(4) ?War Hazards Compensation Act? refers to the statute compiled in Chapter 12 of Title 42, U.S. Code (sections
17011717), as amended.

L1:(b) If pursuant to an agreement entered into prior to capture, the Contractor is obligated to pay and has paid
detention

L0:benefits to a captured person, or the person's dependents, the Government will reimburse the Contractor up to an
amount

L0:equal to the lesser of?

L1:(1) Total wage or salary being paid at the time of capture due from the Contractor to the captured person for the
period of

L0:detention; or

L1:(2) That amount which would have been payable if the detention had occurred under circumstances covered by the
War

L0:Hazards Compensation Act.

L1:(c) The period of detention shall not be considered as time spent in contract performance, and the Government shall

not be

L0:obligated to make payment for that time except as provided in this clause.

L1:(d) The obligation of the Government shall apply to the entire period of detention, except that it is subject to the availability

L0:of funds from which payment can be made. The rights and obligations of the parties under this clause shall survive prior

L0:expiration, completion, or termination of this contract.

L1:(e) The Contractor shall not be reimbursed under this clause for payments made if the employees were entitled to

L0:compensation for capture and detention under the War Hazards Compensation Act, as amended.

L0:(End of clause)

252.228-7005 Mishap Reporting and Investigation Involving Aircraft, Missiles, and Space Launch Vehicles

Status: active

L0:252.228-7005 Mishap Reporting and Investigation Involving Aircraft, Missiles, and Space Launch Vehicles.

L0:As prescribed in 228.371 (d), use the following clause:

L0:MISHAP REPORTING AND INVESTIGATION INVOLVING AIRCRAFT, MISSILES, AND SPACE LAUNCH

L0:VEHICLES (NOV 2019)

L1:(a) The Contractor shall report promptly to the Administrative Contracting Officer all pertinent facts relating to each

L0:mishap involving an aircraft, missile, or space launch vehicle being manufactured, modified, repaired, or overhauled in

L0:connection with this contract.

L1:(b) If the Government conducts an investigation of the mishap, the Contractor shall cooperate and assist the Government's

L0:personnel until the investigation is complete.

L1:(c) The Contractor shall include a clause in subcontracts under this contract to require subcontractor cooperation and

L0:assistance in mishap investigations.

L0:(End of clause)

252.228-7006 Compliance with Spanish Laws and Insurance

Status: active

L0:252.228-7006 Compliance with Spanish Laws and Insurance.

L0:As prescribed in 228.371 (e), use the following clause:

L0:COMPLIANCE WITH SPANISH LAWS AND INSURANCE (DEC 1998)

L1:(a) The requirements of this clause apply only if the Contractor is not a Spanish concern.

L1:(b) The Contractor shall, without additional expense to the United States Government, comply with all applicable Spanish

L0:Government laws pertaining to sanitation, traffic, security, employment of labor, and all other laws relevant to the

L0:performance of this contract. The Contractor shall hold the United States Government harmless and free from any liability

L0:resulting from the Contractor's failure to comply with such laws.

L1:(c) The Contractor shall, at its own expense, provide and maintain during the entire performance of this contract, all L0:workmen's compensation, employees' liability, bodily injury insurance, and other required insurance adequate to cover the

L0:risk assumed by the Contractor. The Contractor shall indemnify and hold harmless the United States Government from

L0:liability resulting from all claims for damages as a result of death or injury to personnel or damage to real or personal L0:property related to the performance of this contract.

L1:(d) The Contractor agrees to represent in writing to the Contracting Officer, prior to commencement of work and not later

L0:than 15 days after the date of the Notice to Proceed, that the Contractor has obtained the required types of insurance in the

L0:following minimum amounts. The representation also shall state that the Contractor will promptly notify the Contracting

L0:Officer of any notice of cancellation of insurance or material change in insurance coverage that could affect the United

L0:States Government's interests.

L0:Type of Insurance

L0:Coverage per

L0:Person

L0:Coverage per

L0:Accident

L0:Property

L0:Damage

L0:Comprehensive General Liability

L0:\$300,000

L0:\$1,000,000

L0:\$100,000

L1:(e) The Contractor shall provide the Contracting Officer with a similar representation for all subcontracts with non-Spanish

L0:concerns that will perform work in Spain under this contract.

L1:(f) Insurance policies required herein shall be purchased from Spanish insurance companies or other insurance companies

L0:legally authorized to conduct business in Spain. Such policies shall conform to Spanish laws and regulations and shall?

L1:(1) Contain provisions requiring submission to Spanish law and jurisdiction of any problem that may arise with regard to

L0:the interpretation or application of the clauses and conditions of the insurance policy;

L1:(2) Contain a provision authorizing the insurance company, as subrogee of the insured entity, to assume and attend to

L0:directly, with respect to any person damaged, the legal consequences arising from the occurrence of such damages;

L1:(3) Contain a provision worded as follows: "The insurance company waives any right of subrogation against the United

L0:States of America that may arise by reason of any payment under this policy.?"

L1:(4) Not contain any deductible amount or similar limitation; and
L1:(5) Not contain any provisions requiring submission to any type of arbitration.
L0:(End of clause)

252.228-7007 Public Aircraft and State Aircraft Operations?Liability

Status: active

L0:252.228-7007 Public Aircraft and State Aircraft Operations?Liability.

L0:As prescribed in 228.371(f), use the following clause:

L0:PUBLIC AIRCRAFT AND STATE AIRCRAFT OPERATIONS?LIABILITY (MAR 2023)

L1:(a) Definitions. As used in this clause?

L0:?Civil aircraft? means an aircraft other than a public aircraft or state aircraft.

L0:?Public aircraft? means an aircraft that meets the definition in 49 U.S.C. 40102(a)(41) and the qualifications in 49 U.S.C.

L0:40125. Specifically, a public aircraft means any of the following:

L1:(1) An aircraft used only for the Government, except as provided in paragraphs (5) and (7) of this definition.

L1:(2) An aircraft owned by the Government and operated by any person for purposes related to crew training, equipment

L0:development, or demonstration, except as provided in paragraph (7) of this definition.

L1:(3) An aircraft owned and operated by the government of a State, the District of Columbia, or a territory or possession of

L0:the United States or a political subdivision of one of these governments, except as provided in paragraph (7) of this

L0:definition.

L1:(4) An aircraft exclusively leased for at least 90 continuous days by the government of a State, the District of Columbia, or

L0:a territory or possession of the United States or a political subdivision of one of these governments, except as provided in

L0:paragraph (7) of this definition.

L1:(5) An aircraft owned or operated by the armed forces or chartered to provide transportation or other commercial air

L0:service to the armed forces under the conditions specified by 49 U.S.C. 40125(c). In the preceding sentence, the term

L0:?other commercial air service? means an aircraft operation that?

L1:(i) Is within the United States territorial airspace;

L1:(ii) The Administrator of the Federal Aviation Administration determines is available for compensation or hire to the

L0:public; and

L1:(iii) Must comply with all applicable civil aircraft rules under title 14, Code of Federal Regulations.

L1:(6) An unmanned aircraft that is owned and operated, or exclusively leased for at least 90 continuous days, by an Indian

L0:Tribal government, as defined in section 102 of the Robert T. Stafford Disaster Relief and Emergency Assistance Act (42

L0:U.S.C. 5122), except as provided in paragraph (7) of this definition.

L1:(7) As described in 49 U.S.C. 40125(b), an aircraft described in paragraph (1), (2), (3), or (4) of this definition does not

L0:qualify as a public aircraft when the aircraft is used for commercial purposes or to carry an individual other than a

L0:crewmember or a qualified non-crewmember.

L0:Public aircraft operation? means operation of an aircraft that meets the legal definition of public aircraft established in 49

L0:U.S.C. 40102(a)(41) and the legal qualifications for public aircraft status outlined in 49 U.S.C. 40125.

L0:State aircraft? means an aircraft operated by the Government for sovereign, noncommercial purposes such as military,

L0:customs, and police services. Military aircraft are afforded status as state aircraft. In very rare circumstances, DoD contracted aircraft may be designated, in writing, by a responsible Government official pursuant to DoD Directive

L0:4500.54E, DoD Foreign Clearance Program, to be operated in state aircraft status, and such status cannot be deemed

L0:without a written designation by an authorized Government official.

L1:(b) Combined regulation/instruction. Upon award, for contract performance to be conducted as a public aircraft operation,

L0:the Contractor shall be bound by the operating procedures contained in the combined regulation/instruction entitled

L0:Contractor's Flight and Ground Operations? (Air Force Instruction 10-220, Army Regulation 95-20, NAVAIR Instruction

L0:3710.1 (Series), Coast Guard Instruction M13020.3 (Series), and Defense Contract Management Agency Instruction 82101 (Series)) in effect on the date of contract award.

L1:(c) Contractor liability for operations for contract performance conducted as public aircraft operations or state aircraft L0:operations.

L1:(1) The Contractor assumes responsibility for all damage or injury to persons or property, including the Contractor's

L0:employees and property, and Government personnel and property, occasioned through the use, maintenance, and operation

L0:of the Contractor's aircraft or other equipment by, or the action of, the Contractor or the Contractor's employees and

L0:agents.

L1:(2) The Contractor, at the Contractor's expense, shall maintain adequate public liability and property damage insurance,

L0:including hull insurance for the Contractor's aircraft, during the duration of this contract, insuring the Contractor against all

L0:claims for injury or damage.

L1:(3) The Contractor shall maintain workers' compensation and other legally required insurance with respect to the

L0:Contractor's own employees and agents.

L1:(4) The Government will in no event be liable or responsible for damage or injury to any person or property occasioned

L0:through the use, maintenance, or operation of any aircraft or other equipment by, or the action of, the Contractor or the

L0:Contractor's employees and agents in performing under this contract, and the Government shall be indemnified and saved

L0:harmless against claims for damage or injury in such cases.

L0:(End of clause)

252.229-7001 Tax Relief

Status: active

L0:252.229-7001 Tax Relief.

L0:Basic. As prescribed in 229.402-70 (a) and (a)(1), use the following clause:

L0:TAX RELIEF?BASIC (APR 2020)

L1:(a) Prices set forth in this contract are exclusive of all taxes and duties from which the United States Government is exempt

L0:by virtue of tax agreements between the United States Government and the Contractor?s government. The following taxes

L0:or duties have been excluded from the contract price:

L0:NAME OF TAX: (Offeror insert)

L0:RATE (PERCENTAGE): (Offeror insert)

L1:(b) Invoices submitted in accordance with the terms and conditions of this contract shall be exclusive of all taxes or duties

L0:for which relief is available. The Contractor?s invoice shall list separately the gross price, amount of tax deducted, and net

L0:price charged.

L1:(c) When items manufactured to United States Government specifications are being acquired, the Contractor shall identify

L0:the materials or components intended to be imported in order to ensure that relief from import duties is obtained. If the

L0:Contractor intends to use imported products from inventories on hand, the price of which includes a factor for import

L0:duties, the Contractor shall ensure the United States Government?s exemption from these taxes. The Contractor may obtain

L0:a refund of the import duties from its government or request the duty-free import of an amount of supplies or components

L0:corresponding to that used from inventory for this contract.

L0:(End of clause)

L0:Alternate I. As prescribed in 229.402-70 (a) and (a)(2), use the following clause, which adds a paragraph (d) not included

L0:in the basic clause:

L0:TAX RELIEF?ALTERNATE I (APR 2020)

L1:(a) Prices set forth in this contract are exclusive of all taxes and duties from which the United States Government is exempt

L0:by virtue of tax agreements between the United States Government and the Contractor?s government. The following taxes

L0:or duties have been excluded from the contract price:

L0:NAME OF TAX: [Offeror insert]

L0:RATE (PERCENTAGE): [Offeror insert]

L1:(b) Invoices submitted in accordance with the terms and conditions of this contract shall be exclusive of all taxes or duties

L0:for which relief is available. The Contractor?s invoice shall list separately the gross price, amount of tax deducted, and net

L0:price charged.

L1:(c) When items manufactured to United States Government specifications are being acquired, the Contractor shall identify

L0:the materials or components intended to be imported in order to ensure that relief from import duties is obtained. If the

L0:Contractor intends to use imported products from inventories on hand, the price of which includes a factor for import L0:duties, the Contractor shall ensure the United States Government's exemption from these taxes. The Contractor may obtain

L0:a refund of the import duties from its government or request the duty-free import of an amount of supplies or components

L0:corresponding to that used from inventory for this contract.

L1:(d) Tax relief will be claimed in Germany pursuant to the provisions of the Agreement Between the United States of L0:America and Germany Concerning Tax Relief to be Accorded by Germany to United States Expenditures in the Interest of

L0:Common Defense. The Contractor shall use Abwicklungsschein fuer abgabenbeguenstigte Lieferungen/Leistungen nach

L0:dem Offshore Steuerabkommen (Performance Certificate for Tax-Free Deliveries/Performance according to the Offshore

L0:Tax Relief Agreement) or other documentary evidence acceptable to the German tax authorities. All purchases made and

L0:paid for on a tax-free basis during a 30-day period may be accumulated, totaled, and reported as tax-free.

L0:End of clause)

252.229-7002 Customs Exemptions (Germany)

Status: active

L0:252.229-7002 Customs Exemptions (Germany).

L0:As prescribed in 229.402-70 (b), use the following clause:

L0:CUSTOMS EXEMPTIONS (GERMANY) (JUN 1997)

L0:Imported products required for the direct benefit of the United States Forces are authorized to be acquired duty-free by the

L0:Contractor in accordance with the provisions of the Agreement Between the United States of America and Germany L0:Concerning Tax Relief to be Accorded by Germany to United States Expenditures in the Interest of Common Defense.

L0:(End of clause)

252.229-7003 Tax Exemptions (Italy)

Status: active

L0:252.229-7003 Tax Exemptions (Italy).

L0:As prescribed in 229.402-70 (c)(1), use the following clause:

L0:TAX EXEMPTIONS (ITALY) (MAR 2012)

L1:(a) As the Contractor represented in its offer, the contract price, including the prices in subcontracts awarded under this

L0:contract, does not include taxes from which the United States Government is exempt.

L1:(b) The United States Government is exempt from payment of Imposta Valore Aggiunto (IVA) tax in accordance with

L0:Article 72 of the IVA implementing decree on all supplies and services sold to United States Military Commands in Italy.

L1:(1) The Contractor shall include the following information on invoices submitted to the United States Government:

L1:(i) The contract number.

L1:(ii) The IVA tax exemption claimed pursuant to Article 72 of Decree Law 633, dated October 26, 1972.

L1:(iii) The following fiscal code(s): [Contracting Officer must insert the applicable fiscal code(s) for military activities within Italy: 80028250241 for Army, 80156020630 for Navy, or 91000190933 for Air Force].

L1:(2)(i) Upon receipt of the invoice, the paying office will include the following certification on one copy of the invoice:

L0:I certify that this invoice is true and correct and reflects expenditures made in Italy for the Common Defense by the United States Government pursuant to international agreements. The amount to be paid does not include the IVA tax,

L0:because this transaction is not subject to the tax in accordance with Article 72 of Decree Law 633, dated October 26,

L0:1972.?

L0:An authorized United States Government official will sign the copy of the invoice containing this certification.

L1:(ii) The paying office will return the certified copy together with payment to the Contractor. The payment will not include

L0:the amount of the IVA tax.

L1:(iii) The Contractor shall retain the certified copy to substantiate non-payment of the IVA tax.

L1:(3) The Contractor may address questions regarding the IVA tax to the Ministry of Finance, IVA Office, Rome (06) 520741.

L1:(c) In addition to the IVA tax, purchases by the United States Forces in Italy are exempt from the following taxes:

L1:(1) Imposta di Fabbricazione (Production Tax for Petroleum Products).

L1:(2) Imposta di Consumo (Consumption Tax for Electrical Power).

L1:(3) Dazi Doganali (Customs Duties).

L1:(4) Tassa di Sbarco e d'Imbarco sulle Merci Transportate per Via Aerea e per Via Maritima (Port Fees).

L1:(5) Tassa de Circolazione sui Veicoli (Vehicle Circulation Tax).

L1:(6) Imposta di Registro (Registration Tax).

L1:(7) Imposta di Bollo (Stamp Tax).

L0:(End of clause)

252.229-7004 Status of Contractor as a Direct Contractor (Spain)

Status: active

L0:252.229-7004 Status of Contractor as a Direct Contractor (Spain).

L0:As prescribed in 229.402-70 (d), use the following clause:

L0:STATUS OF CONTRACTOR AS A DIRECT CONTRACTOR (SPAIN) (JUN 1997)

L1:(a) ?Direct Contractor,? as used in this clause, means an individual, company, or entity with whom an agency of the United

L0:States Department of Defense has executed a written agreement that allows duty-free import of equipment, materials, and

L0:supplies into Spain for the construction, development, maintenance, and operation of Spanish-American installations and

L0:facilities.

L1:(b) The Contractor is hereby designated as a Direct Contractor under the provisions of Complementary Agreement 5,

L0:articles 11, 14, 15, 17, and 18 of the Agreement on Friendship, Defense and Cooperation between the United States L0:Government and the Kingdom of Spain, dated July 2, 1982. The Agreement relates to contracts to be performed in whole

L0:or part in Spain, the provisions of which are hereby incorporated into and made a part of this contract by reference.

L1:(c) The Contractor shall apply to the appropriate Spanish authorities for approval of status as a Direct Contractor in order to

L0:complete duty-free import of non-Spanish equipment, materials, and supplies represented as necessary for contract L0:performance by the Contracting Officer. Orders for equipment, materials, and supplies placed prior to official notification

L0:of such approval shall be at the Contractor's own risk. The Contractor must submit its documentation in sufficient time to

L0:permit processing by the appropriate United States and Spanish Government agencies prior to the arrival of the equipment,

L0:materials, or supplies in Spain. Seasonal variations in processing times are common, and the Contractor should program its

L0:projects accordingly. Any delay or expense arising directly or indirectly from this process shall not excuse untimely L0:performance (except as expressly allowed in other provisions of this contract), constitute a direct or constructive change, or

L0:otherwise provide a basis for additional compensation or adjustment of any kind.

L1:(d) To ensure that all duty-free imports are properly accounted for, exported, or disposed of, in accordance with Spanish

L0:law, the Contractor shall obtain a written bank letter of guaranty payable to the Treasurer of the United States, or such other

L0:authority as may be designated by the Contracting Officer, in the amount set forth in paragraph (g) of this clause, prior to

L0:effecting any duty-free imports for the performance of this contract.

L1:(e) If the Contractor fails to obtain the required guaranty, the Contractor agrees that the Contracting Officer may withhold a

L0:portion of the contract payments in order to establish a fund in the amount set forth in paragraph (g) of this clause. The

L0:fund shall be used for the payment of import taxes in the event that the Contractor fails to properly account for, export, or

L0:dispose of equipment, materials, or supplies imported on a duty-free basis.

L1:(f) The amount of the bank letter of guaranty or size of the fund required under paragraph (d) or (e) of this clause normally

L0:shall be 5 percent of the contract value. However, if the Contractor demonstrates to the Contracting Officer's satisfaction

L0:that the amount retained by the United States Government or guaranteed by the bank is excessive, the amount shall be

L0:reduced to an amount commensurate with contingent import tax and duty-free liability. This bank guaranty or fund shall

L0:not be released to the Contractor until the Spanish General Directorate of Customs verifies the accounting, export, or

L0:disposition of the equipment, material, or supplies imported on a duty-free basis.

L1:(g) The amount required under paragraph (d), (e), or (f) of this clause is (Contracting Officer insert amount at time of L0:contract award) .

L1:(h) The Contractor agrees to insert the provisions of this clause, including this paragraph (h), in all subcontracts.

L0:(End of clause)

252.229-7005 Tax Exemptions (Spain)

Status: active

L0:252.229-7005 Tax Exemptions (Spain).

L0:As prescribed in 229.402-70 (e)(1), use the following clause:

L0:TAX EXEMPTIONS (SPAIN) (MAR 2012)

L1:(a) As the Contractor represented in its offer, the contract price, including the prices in subcontracts awarded under this

L0:contract, does not include taxes from which the United States Government is exempt.

L1:(b) In accordance with tax relief agreements between the United States Government and the Spanish Government, and

L0:because the incumbent contract arises from the activities of the United States Forces in Spain, the contract will be exempt

L0:from the following excise, luxury, and transaction taxes:

L1:(1) Derechos de Aduana (Customs Duties).

L1:(2) Impuesto de Compensacion a la Importacion (Compensation Tax on Imports).

L1:(3) Transmisiones Patrimonial (Property Transfer Tax).

L1:(4) Impuesto Sobre el Lujo (Luxury Tax).

L1:(5) Actos Juridicos Documentados (Legal Official Transactions).

L1:(6) Impuesto Sobre el Trafico de Empresas (Business Trade Tax).

L1:(7) Impuestos Especiales de Fabricacion (Special Products Tax).

L1:(8) Impuesto Sobre el Petroleo y Derivados (Tax on Petroleum and its By-Products).

L1:(9) Impuesto Sobre el Uso de Telefonos (Telephone Tax).

L1:(10) Impuesto General Sobre la Renta de Sociedades y demas Entidades Juridicas (General Corporation Income Tax).

L1:(11) Impuesto Industrial (Industrial Tax).

L1:(12) Impuesto de Rentas Sobre el Capital (Capital Gains Tax).

L1:(13) Plus Valia (Increase on Real Property).

L1:(14) Contribucion Territorial Urbana (Metropolitan Real Estate Tax).

L1:(15) Contribucion Territorial Rustica y Pecuaria (Farmland Real Estate Tax).

L1:(16) Impuestos de la Diputacion (County Service Charges).

L1:(17) Impuestos Municipal y Tasas Parafiscales (Municipal Tax and Charges).

L0:(End of clause)

252.229-7006 Value Added Tax Exclusion (United Kingdom)

Status: active

L0:252.229-7006 Value Added Tax Exclusion (United Kingdom)

L0:As prescribed in 229.402-70 (f), use the follow clause:

L0:VALUE ADDED TAX EXCLUSION (UNITED KINGDOM) (DEC 2011)

L0:The supplies or services identified in this contract are to be delivered at a price exclusive of value added tax under

L0:arrangements between the appropriate United States authorities and Her Majesty's Revenue and Customs (HMRC

L0:Reference Notice 431, entitled Relief from Customs Duty and/or Value Added Tax on United States Government

L0:Expenditures in the United Kingdom). By executing this contract, the Contracting Officer certifies that these supplies or

L0:services are being purchased for United States Government official purposes only.

L0:(End of clause)

252.229-7007 Verification of United States Receipt of Goods

Status: active

L0:252.229-7007 Verification of United States Receipt of Goods.

L0:As prescribed in 229.402-70 (g), use the following clause:

L0:VERIFICATION OF UNITED STATES RECEIPT OF GOODS (JUN 1997)

L0:The Contractor shall insert the following statement on all Material Inspection and Receiving Reports (DD Form 250 series)

L0:for Contracting Officer approval:

L0:?"I certify that the items listed on this invoice have been received by the United States.?"

L0:(End of clause)

252.229-7008 Relief from Import Duty (United Kingdom)

Status: active

L0:252.229-7008 Relief from Import Duty (United Kingdom).

L0:As prescribed in 229.402-70 (h), use the following clause:

L0:RELIEF FROM IMPORT DUTY (UNITED KINGDOM) (DEC 2011)

L0:Any import dutiable articles, components, or raw materials supplied to the United States Government under this contract

L0:shall be exclusive of any United Kingdom import duties. Any imported items supplied for which import duty already has

L0:been paid will be supplied at a price exclusive of the amount of import duty paid. The Contractor is advised to contact Her

L0:Majesty's Revenue and Customs to obtain a refund upon completion of the contract (Reference HMRC Notice No. 431,

L0:entitled ?Relief from Customs Duty and/or Value Added Tax on United States Government Expenditures in the United

L0:Kingdom?).

L0:(End of clause)

252.229-7009 Relief from Customs Duty and Value Added Tax on Fuel (Passenger Vehicles) (United Kingdom)

Status: active

L0:252.229-7009 Relief from Customs Duty and Value Added Tax on Fuel (Passenger Vehicles) (United Kingdom).

L0:As prescribed in 229.402-70 (i), use the following clause:

L0:RELIEF FROM CUSTOMS DUTY AND VALUE ADDED TAX ON FUEL (PASSENGER VEHICLES) (UNITED KINGDOM) (JUN 1997)

L1:(a) Pursuant to an agreement between the United States Government and Her Majesty's (HM) Customs and Excise, fuels

L0:and lubricants used by passenger vehicles (except taxis) in the performance of this contract will be exempt from customs

L0:duty and value added tax. Therefore, the procedures outlined in HM Customs and Excise Notice No. 431B, August 1982,

L0:and any amendment thereto, shall be used to obtain relief from both customs duty and value added tax for fuel used under

L0:the contract. These procedures shall apply to both loaded and unloaded miles. The unit prices shall be based on the

L0:recoupment by the Contractor of customs duty in accordance with the following allowances:

L1:(1) Vehicles (except taxis) with a seating capacity of less than 29, one gallon for every 27 miles.

L1:(2) Vehicles with a seating capacity of 29-53, one gallon for every 13 miles.

L1:(3) Vehicles with a seating capacity of 54 or more, one gallon for every 10 miles.

L1:(b) In the event the mileage of any route is increased or decreased within 10 percent, resulting in no change in route price,

L0:the customs duty shall be reclaimed from HM Customs and Excise on actual mileage performed.

L0:(End of clause)

252.229-7010 Relief from Customs Duty on Fuel (United Kingdom)

Status: active

L0:252.229-7010 Relief from Customs Duty on Fuel (United Kingdom).

L0:As prescribed in 229.402-70 (j), use the following clause:

L0:RELIEF FROM CUSTOMS DUTY ON FUEL (UNITED KINGDOM) (JUN 1997)

L1:(a) Pursuant to an agreement between the United States Government and Her Majesty's (HM) Customs and Excise, it is

L0:possible to obtain relief from customs duty on fuels and lubricants used in support of certain contracts. If vehicle fuels and

L0:lubricants are used in support of this contract, the Contractor shall seek relief from customs duty in accordance with HM

L0:Customs Notice No. 431, February 1973, entitled "Relief from Customs Duty and/or Value Added Tax on United States

L0:Government Expenditures in the United Kingdom." Application should be sent to the Contractor's local Customs and

L0:Excise Office.

L1:(b) Specific information should be included in the request for tax relief, such as the number of vehicles involved,

types of

L0:vehicles, rating of vehicles, fuel consumption, estimated mileage per contract period, and any other information that will

L0:assist HM Customs and Excise in determining the amount of relief to be granted.

L1:(c) Within 30 days after the award of this contract, the Contractor shall provide the Contracting Officer with evidence that

L0:an attempt to obtain such relief has been initiated. In the event the Contractor does not attempt to obtain relief within the

L0:time specified, the Contracting Officer may deduct from the contract price the amount of relief that would have been

L0:allowed if HM Customs and Excise had favorably considered the request for relief.

L1:(d) The amount of any rebate granted by HM Customs and Excise shall be paid in full to the United States Government.

L0:Checks shall be made payable to the Treasurer of the United States and forwarded to the Administrative Contracting Officer.

L0:(End of clause)

252.229-7011 Reporting of Foreign Taxes - U.S. Assistance Programs

Status: active

L0:252.229-7011 Reporting of Foreign Taxes - U.S. Assistance Programs.

L0:As prescribed in 229.170-4 , use the following clause:

L0:REPORTING OF FOREIGN TAXES - U.S. ASSISTANCE PROGRAMS (SEP 2005)

L1:(a) Definition. ?Commodities,? as used in this clause, means any materials, articles, supplies, goods, or equipment.

L1:(b) Commodities acquired under this contract shall be exempt from all value added taxes and customs duties imposed by

L0:the recipient country. This exemption is in addition to any other tax exemption provided through separate agreements or

L0:other means.

L1:(c) The Contractor shall inform the foreign government of the tax exemption, as documented in the Letter of Offer and

L0:Acceptance, country-to-country agreement, or interagency agreement.

L1:(d) If the foreign government or entity nevertheless imposes taxes, the Contractor shall promptly notify the Contracting

L0:Officer and shall provide documentation showing that the foreign government was apprised of the tax exemption in

L0:accordance with paragraph (c) of this clause.

L1:(e) The Contractor shall insert the substance of this clause, including this paragraph (e), in all subcontracts for commodities

L0:that exceed \$500.

L0:(End of clause)

252.229-7012 Tax Exemptions (Italy)?Representation

Status: active

L0:252.229-7012 Tax Exemptions (Italy)?Representation.

L0:As prescribed in 229.402-70 (c)(2), use the following provision:

L0:TAX EXEMPTIONS (ITALY)?REPRESENTATION (MAR 2012)

L1:(a) Exemptions. The United States Government is exempt from payment of?

L1:(1) Imposta Valore Aggiunto (IVA) tax in accordance with Article 72 of the IVA implementing decree on all supplies and

L0:services sold to United States Military Commands in Italy; and

L1:(2) The other taxes specified in paragraph (c) of the clause DFARS 252.229-7003 , Tax Exemptions (Italy).

L1:(b) Representation. By submission of its offer, the offeror represents that the offered price, including the prices of L0:subcontracts to be awarded under the contract, does not include the taxes identified herein, or any other taxes from which

L0:the United States Government is exempt.

L0:(End of provision)

252.229-7013 Tax Exemptions (Spain)?Representation

Status: active

L0:252.229-7013 Tax Exemptions (Spain)?Representation.

L0:As prescribed in 229.402-70 (e)(2), use the following provision:

L0:TAX EXEMPTIONS (SPAIN)?REPRESENTATION (APR 2012)

L1:(a) Exemptions. In accordance with tax relief agreements between the United States Government and the Spanish

L0:Government, and because the resultant contract arises from the activities of the United States Forces in Spain, the contract

L0:will be exempt from the excise, luxury, and transaction taxes listed in paragraph (b) of the clause DFARS 252.229-7005 ,

L0:Tax Exemptions (Spain).

L1:(b) Representation. By submission of its offer, the offeror represents that the offered price, including the prices of L0:subcontracts to be awarded under the contract, does not include the taxes identified herein, or any other taxes from which

L0:the United States Government is exempt.

L0:(End of provision)

252.229-7014 Full Exemption from Two-Percent Excise Tax on Certain Foreign Procurements

Status: active

L0:252.229-7014 Full Exemption from Two-Percent Excise Tax on Certain Foreign Procurements.

L0:As prescribed in 229.402-70(k), use the following clause:

L0:FULL EXEMPTION FROM TWO-PERCENT EXCISE TAX ON CERTAIN FOREIGN PROCUREMENTS (OCT 2022)

L1:(a) As the Contractor represented in its offer, any item, including any item delivered under subcontract; any service; or any

L0:combination thereof delivered under this contract is fully exempt from the 2-percent excise tax withholding imposed by 26

L0:U.S.C. 5000C and implemented by Federal Acquisition Regulation (FAR) 52.229-12, Tax on Certain Foreign
L0:Procurements.

L1:(b) If the full exemption no longer applies due to a change in circumstances during the performance of the contract,
causing

L0:the Contractor to become subject to the withholding for the 2-percent excise tax as imposed by 26 U.S.C. 5000C,
then the

L0:Contractor shall immediately comply with the notification and billing requirements of FAR clause 52.229-12.

L0:(End of clause)

252.231-7000 Supplemental Cost Principles

Status: active

L0:252.231-7000 Supplemental Cost Principles.

L0:As prescribed in 231.100-70 , use the following clause:

L0:SUPPLEMENTAL COST PRINCIPLES (DEC 1991)

L0:When the allowability of costs under this contract is determined in accordance with Part 31 of the Federal Acquisition
L0:Regulation (FAR), allowability shall also be determined in accordance with Part 231 of the Defense FAR
Supplement, in

L0:effect on the date of this contract.

L0:(End of clause)

252.232-7000 Advance Payment Pool

Status: active

L0:252.232-7000 Advance Payment Pool.

L0:As prescribed in 232.412-70 (a), use the following clause:

L0:ADVANCE PAYMENT POOL (APR 2020)

L1:(a) Notwithstanding any other provision of this contract, advance payments will be made for contract performance in
L0:accordance with the Determinations, Findings, and Authorization for Advance payment dated

L0:_____.

L1:(b) Payments made in accordance with this clause shall be governed by the terms and conditions of the Advance
Payment

L0:Pool Agreement between the United States of America and [insert the name of the Contractor]. The Agreement is

L0:incorporated in the contract by reference.

L1:(c) When a letter of credit has not been issued to the Contractor in conjunction with the contract, payment will be by
a dual

L0:payee Treasury check made payable to the Contractor or the disbursing office in the Advance Payment Pool
Agreement

L0:and will be forwarded to that disbursing office for appropriate disposition.

L0:(End of clause)

252.232-7002 Progress Payments for Foreign Military Sales Acquisitions

L0:252.232-7002 Progress Payments for Foreign Military Sales Acquisitions.

L0:As prescribed in 232.502-4 -70(a), use the following clause:

L0:PROGRESS PAYMENTS FOR FOREIGN MILITARY SALES ACQUISITIONS (MAY 2023)

L0:If this contract includes foreign military sales (FMS) requirements, the Contractor shall?

L1:(a) Submit a separate progress payment requests for the FMS and U.S. line items in the contract;

L1:(b) Submit a supporting schedule showing the amount of each request distributed to each country's requirements; and

L1:(c) Identify in each progress payment request the contract requirements to which it applies (i.e., FMS or U.S.);

L1:(d) Calculate each request on the basis of the prices, costs (including costs to complete), subcontract financing, and

L0:progress payment liquidations of the contract requirements to which it applies; and

L1:(e) Distribute costs among the countries in a manner acceptable to the Administrative Contracting Officer.

L0:(End of clause)

252.232-7003 Electronic Submission of Payment Requests and Receiving Reports

L0:252.232-7003 Electronic Submission of Payment Requests and Receiving Reports.

L0:As prescribed in 232.7004 (a), use the following clause:

L0:ELECTRONIC SUBMISSION OF PAYMENT REQUESTS AND RECEIVING REPORTS (DEC 2018)

L1:(a) Definitions. As used in this clause?

L0:Contract financing payment? means an authorized Government disbursement of monies to a contractor prior to acceptance

L0:of supplies or services by the Government.

L1:(1) Contract financing payments include?

L1:(i) Advance payments;

L1:(ii) Performance-based payments;

L1:(iii) Commercial advance and interim payments;

L1:(iv) Progress payments based on cost under the clause at Federal Acquisition Regulation (FAR) 52.232-16, Progress

L0:Payments;

L1:(v) Progress payments based on a percentage or stage of completion (see FAR 32.102(e)), except those made under the

L0:clause at FAR 52.232-5, Payments Under Fixed-Price Construction Contracts, or the clause at FAR 52.232-10, Payments

L0:Under Fixed-Price Architect-Engineer Contracts; and

L1:(vi) Interim payments under a cost reimbursement contract, except for a cost reimbursement contract for services when

L0:Alternate I of the clause at FAR 52.232-25, Prompt Payment, is used.

L1:(2) Contract financing payments do not include?

L1:(i) Invoice payments;

L1:(ii) Payments for partial deliveries; or

L1:(iii) Lease and rental payments.

L0:Electronic form? means any automated system that transmits information electronically from the initiating system to affected systems.

L0:Invoice payment? means a Government disbursement of monies to a contractor under a contract or other authorization for

L0:supplies or services accepted by the Government.

L1:(1) Invoice payments include?

L1:(i) Payments for partial deliveries that have been accepted by the Government;

L1:(ii) Final cost or fee payments where amounts owed have been settled between the Government and the contractor;

L1:(iii) For purposes of subpart 32.9 only, all payments made under the clause at 52.232-5, Payments Under Fixed-Price

L0:Construction Contracts, and the clause at 52.232-10, Payments Under Fixed-Price Architect-Engineer Contracts; and

L1:(iv) Interim payments under a cost-reimbursement contract for services when Alternate I of the clause at 52.232-25, Prompt Payment, is used.

L1:(2) Invoice payments do not include contract financing payments.

L0:Payment request? means any request for contract financing payment or invoice payment submitted by the Contractor

L0:under this contract or task or delivery order.

L0:Receiving report? means the data prepared in the manner and to the extent required by Appendix F, Material Inspection

L0:and Receiving Report, of the Defense Federal Acquisition Regulation Supplement.

L1:(b) Except as provided in paragraph (d) of this clause, the Contractor shall submit payment requests and receiving reports

L0:in electronic form using Wide Area WorkFlow (WAWF). The Contractor shall prepare and furnish to the Government a

L0:receiving report at the time of each delivery of supplies or services under this contract or task or delivery order.

L1:(c) Submit payment requests and receiving reports to WAWF in one of the following electronic formats:

L1:(1) Electronic Data Interchange.

L1:(2) Secure File Transfer Protocol.

L1:(3) Direct input through the WAWF website.

L1:(d) The Contractor may submit a payment request and receiving report using methods other than WAWF only when?

L1:(1) The Contractor has requested permission in writing to do so, and the Contracting Officer has provided instructions for a

L0:temporary alternative method of submission of payment requests and receiving reports in the contract administration data

L0:section of this contract or task or delivery order;

L1:(2) DoD makes payment for commercial transportation services provided under a Government rate tender or a contract for

L0:transportation services using a DoD-approved electronic third party payment system or other exempted vendor

L0:payment/invoicing system (e.g., PowerTrack, Transportation Financial Management System, and Cargo and Billing System);

L1:(3) DoD makes payment on a contract or task or delivery order for rendered health care services using the TRICARE

L0:Encounter Data System; or

L1:(4) The Governmentwide commercial purchase card is used as the method of payment, in which case submission of only

L0:the receiving report in WAWF is required.

L1:(e) Information regarding WAWF is available at <https://wawf.eb.mil/>.

L1:(f) In addition to the requirements of this clause, the Contractor shall meet the requirements of the appropriate payment

L0:clauses in this contract when submitting payment requests.

L0:(End of clause)

252.232-7004 DoD Progress Payment Rates

Status: active

L0:252.232-7004 DoD Progress Payment Rates.

L0:As prescribed in 232.502-4 -70(b), use the following clause:

L0:DOD PROGRESS PAYMENT RATES (OCT 2014)

L0:If the Contractor is a small business concern, the Progress Payments clause of this contract is modified to change each

L0:mention of the progress payment rate and liquidation rate (excepting paragraph (k), Limitations on Undefined Contract

L0:Actions) to 90 percent.

L0:(End of clause)

252.232-7005 Reimbursement of Subcontractor Advance Payments?DoD Mentor-Protégé Program

Status: active

L0:252.232-7005 Reimbursement of Subcontractor Advance Payments?DoD Mentor-Protégé Program.

L0:As prescribed in 232.412-70 (b), use the following clause:

L0:Reimbursement of Subcontractor Advance Payments?DoD Mentor-Protégé Program (MAR 2024)

L1:(a) The Government will reimburse the Contractor for any advance payments made by the Contractor, as a mentor firm, to

L0:a protege firm, pursuant to an approved mentor-protege agreement, provided?

L1:(1) The Contractor?s subcontract with the protege firm includes a provision substantially the same as FAR 52.232-12,

L0:Advance Payments;

L1:(2) The Contractor has administered the advance payments in accordance with the policies of FAR Subpart 32.4; and

L1:(3) The Contractor agrees that any financial loss resulting from the failure or inability of the protege firm to repay any L0:unliquidated advance payments is the sole financial responsibility of the Contractor.

L1:(b) For a fixed price type contract, advance payments made to a protege firm shall be paid and administered as if they were

L0:100 percent progress payments. The Contractor shall include as a separate attachment with each Standard Form (SF) 1443,

L0:Contractor's Request for Progress Payment, a request for reimbursement of advance payments made to a protege firm. The

L0:attachment shall provide a separate calculation of lines 14a through 14e of SF 1443 for each protege, reflecting the status

L0:of advance payments made to that protege.

L1:(c) For cost reimbursable contracts, reimbursement of advance payments shall be made via public voucher. The Contractor

L0:shall show the amounts of advance payments made to each protege on the public voucher, in the form and detail directed

L0:by the cognizant contracting officer or contract auditor.

L0:(End of clause)

252.232-7006 Wide Area WorkFlow Payment Instructions

Status: active

L0:252.232-7006 Wide Area WorkFlow Payment Instructions.

L0:As prescribed in 232.7004 (b), use the following clause:

L0:WIDE AREA WORKFLOW PAYMENT INSTRUCTIONS (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?Department of Defense Activity Address Code (DoDAAC)? is a six position code that uniquely identifies a unit, activity,

L0:or organization.

L0:?Document type? means the type of payment request or receiving report available for creation in Wide Area WorkFlow

L1:(WAWF).

L0:?Local processing office (LPO)? is the office responsible for payment certification when payment certification is done

L0:external to the entitlement system.

L0:?Payment request? and ?receiving report? are defined in the clause at 252.232-7003 , Electronic Submission of Payment

L0:Requests and Receiving Reports.

L1:(b) Electronic invoicing. The WAWF system provides the method to electronically process vendor payment requests and

L0:receiving reports, as authorized by Defense Federal Acquisition Regulation Supplement (DFARS) 252.232-7003 ,

L0:Electronic Submission of Payment Requests and Receiving Reports.

L1:(c) WAWF access. To access WAWF, the Contractor shall?

L1:(1) Have a designated electronic business point of contact in the System for Award Management at <https://www.sam.gov>;

L0:and

L1:(2) Be registered to use WAWF at <https://wawf.eb.mil/> following the step-by-step procedures for self-registration available

L0:at this web site.

L1:(d) WAWF training. The Contractor should follow the training instructions of the WAWF Web-Based Training Course and

L0:use the Practice Training Site before submitting payment requests through WAWF. Both can be accessed by

selecting the

L0: Web Based Training? link on the WAWF home page at <https://wawf.eb.mil/>

L1:(e) WAWF methods of document submission. Document submissions may be via web entry, Electronic Data Interchange, or

L0: File Transfer Protocol.

L1:(f) WAWF payment instructions. The Contractor shall use the following information when submitting payment requests and

L0: receiving reports in WAWF for this contract or task or delivery order:

L1:(1) Document type. The Contractor shall submit payment requests using the following document type(s):

L1:(i) For cost-type line items, including labor-hour or time-and-materials, submit a cost voucher.

L1:(ii) For fixed price line items?

L1:(A) That require shipment of a deliverable, submit the invoice and receiving report specified by the Contracting Officer.

L0: _____

L0:(Contracting Officer: Insert applicable invoice and receiving report document type(s) for fixed price line items that require

L0: shipment of a deliverable.)

L1:(B) For services that do not require shipment of a deliverable, submit either the Invoice 2in1, which meets the requirements

L0: for the invoice and receiving report, or the applicable invoice and receiving report, as specified by the Contracting Officer.

L0: _____

L0:(Contracting Officer: Insert either ?Invoice 2in1? or the applicable invoice and receiving report document type(s) for fixed

L0: price line items for services.)

L1:(iii) For customary progress payments based on costs incurred, submit a progress payment request.

L1:(iv) For performance based payments, submit a performance based payment request.

L1:(v) For commercial financing, submit a commercial financing request.

L1:(2) Fast Pay requests are only permitted when Federal Acquisition Regulation (FAR) 52.213-1 is included in the contract.

L1:(3) Document routing. The Contractor shall use the information in the Routing Data Table below only to fill in applicable

L0: fields in WAWF when creating payment requests and receiving reports in the system.

L0: Routing Data Table*

L0: Field Name in WAWF

L0: Data to be entered in WAWF

L0: Pay Official DoDAAC

L0: Issue By DoDAAC

L0: Admin DoDAAC**

L0: Inspect By DoDAAC

L0: Ship To Code

L0: Ship From Code

L0: Mark For Code

L0: Service Approver (DoDAAC)

L0:Service Acceptor (DoDAAC)

L0:Accept at Other DoDAAC

L0:LPO DoDAAC

L0:DCAA Auditor DoDAAC

L0:Other DoDAAC(s)

L0:(*Contracting Officer: Insert applicable DoDAAC information. If multiple ship to/acceptance locations apply, insert ?See

L0:Schedule? or ?Not applicable.?)

L0:(**Contracting Officer: If the contract provides for progress payments or performance-based payments, insert the L0:DoDAAC for the contract administration office assigned the functions under FAR 42.302(a)(13).)

L1:(4) Payment request. The Contractor shall ensure a payment request includes documentation appropriate to the type of

L0:payment request in accordance with the payment clause, contract financing clause, or Federal Acquisition Regulation

L0:52.216-7, Allowable Cost and Payment, as applicable.

L1:(5) Receiving report. The Contractor shall ensure a receiving report meets the requirements of DFARS Appendix F.

L1:(g) WAWF point of contact.

L1:(1) The Contractor may obtain clarification regarding invoicing in WAWF from the following contracting activity?s WAWF

L0:point of contact.

L0:_____

L0:(Contracting Officer: Insert applicable information or ?Not applicable.?)

L1:(2) Contact the WAWF helpdesk at 866-618-5988, if assistance is needed.

L0:(End of clause)

252.232-7007 Limitation of Governments Obligation

Status: active

L0:252.232-7007 Limitation of Governments Obligation.

L0:As prescribed in 232.706-70 , use the following clause:

L0:LIMITATION OF GOVERNMENT'S OBLIGATION (APR 2014)

L1:(a) Contract line item(s) [Contracting Officer insert after negotiations] is/are incrementally funded. For this/these item(s),

L0:the sum of \$ [Contracting Officer insert after negotiations] of the total price is presently available for payment and allotted

L0:to this contract. An allotment schedule is set forth in paragraph (j) of this clause.

L1:(b) For item(s) identified in paragraph (a) of this clause, the Contractor agrees to perform up to the point at which the total

L0:amount payable by the Government, including reimbursement in the event of termination of those item(s) for the

L0:Government's convenience, approximates the total amount currently allotted to the contract. The Contractor is not

L0:authorized to continue work on those item(s) beyond that point. The Government will not be obligated in any event to

L0:reimburse the Contractor in excess of the amount allotted to the contract for those item(s) regardless of anything to the

L0:contrary in the clause entitled "Termination for Convenience of the Government." As used in this clause, the total amount

L0:payable by the Government in the event of termination of applicable contract line item(s) for convenience includes costs,

L0:profit, and estimated termination settlement costs for those item(s).

L1:(c) Notwithstanding the dates specified in the allotment schedule in paragraph (j) of this clause, the Contractor will notify

L0:the Contracting Officer in writing at least ninety days prior to the date when, in the Contractor's best judgment, the work

L0:will reach the point at which the total amount payable by the Government, including any cost for termination for

L0:convenience, will approximate 85 percent of the total amount then allotted to the contract for performance of the applicable

L0:item(s). The notification will state (1) the estimated date when that point will be reached and (2) an estimate of additional

L0:funding, if any, needed to continue performance of applicable line items up to the next scheduled date for allotment of

L0:funds identified in paragraph (j) of this clause, or to a mutually agreed upon substitute date. The notification will also

L0:advise the Contracting Officer of the estimated amount of additional funds that will be required for the timely performance

L0:of the item(s) funded pursuant to this clause, for a subsequent period as may be specified in the allotment schedule in

L0:paragraph (j) of this clause or otherwise agreed to by the parties. If after such notification additional funds are not allotted

L0:by the date identified in the Contractor's notification, or by an agreed substitute date, the Contracting Officer will terminate

L0:any item(s) for which additional funds have not been allotted, pursuant to the clause of this contract entitled "Termination

L0:for Convenience of the Government."

L1:(d) When additional funds are allotted for continued performance of the contract line item(s) identified in paragraph (a) of

L0:this clause, the parties will agree as to the period of contract performance which will be covered by the funds. The

L0:provisions of paragraphs (b) through (d) of this clause will apply in like manner to the additional allotted funds and agreed

L0:substitute date, and the contract will be modified accordingly.

L1:(e) If, solely by reason of failure of the Government to allot additional funds, by the dates indicated below, in amounts

L0:sufficient for timely performance of the contract line item(s) identified in paragraph (a) of this clause, the Contractor incurs

L0:additional costs or is delayed in the performance of the work under this contract and if additional funds are allotted, an

L0:equitable adjustment will be made in the price or prices (including appropriate target, billing, and ceiling prices where

L0:applicable) of the item(s), or in the time of delivery, or both. Failure to agree to any such equitable adjustment hereunder

L0:will be a dispute concerning a question of fact within the meaning of the clause entitled "Disputes."

L1:(f) The Government may at any time prior to termination allot additional funds for the performance of the contract line

L0:item(s) identified in paragraph (a) of this clause.

L1:(g) The termination provisions of this clause do not limit the rights of the Government under the clause entitled ?Default.?

L0:The provisions of this clause are limited to the work and allotment of funds for the contract line item(s) set forth in

L0:paragraph (a) of this clause. This clause no longer applies once the contract is fully funded except with regard to the rights

L0:or obligations of the parties concerning equitable adjustments negotiated under paragraphs (d) and (e) of this clause.

L1:(h) Nothing in this clause affects the right of the Government to terminate this contract pursuant to the clause of this

L0:contract entitled ?Termination for Convenience of the Government.?

L1:(i) Nothing in this clause shall be construed as authorization of voluntary services whose acceptance is otherwise

L0:prohibited under 31 U.S.C. 1342.

L1:(j) The parties contemplate that the Government will allot funds to this contract in accordance with the following schedule:

L0:On execution of contract

L0:\$ _____

L1:(month) (day), (year)

L0:\$ _____

L1:(month) (day), (year)

L0:\$ _____

L1:(month) (day), (year)

L0:\$ _____

L0:(End of clause)

252.232-7008 Assignment of Claims (Overseas)

Status: active

L0:252.232-7008 Assignment of Claims (Overseas).

L0:As prescribed in 232.806 (a)(1), use the following clause:

L0:ASSIGNMENT OF CLAIMS (OVERSEAS) (JUN 1997)

L1:(a) No claims for monies due, or to become due, shall be assigned by the Contractor unless?

L1:(1) Approved in writing by the Contracting Officer;

L1:(2) Made in accordance with the laws and regulations of the United States of America; and

L1:(3) Permitted by the laws and regulations of the Contractor?s country.

L1:(b) In no event shall copies of this contract or of any plans, specifications, or other similar documents relating to work

L0:under this contract, if marked ?Top Secret,? ?Secret,? or ?Confidential? be furnished to any assignee of any claim arising

L0:under this contract or to any other person not entitled to receive such documents. However, a copy of any part or all of this

L0:contract so marked may be furnished, or any information contained herein may be disclosed, to such assignee upon the

L0:Contracting Officer?s prior written authorization.

L1:(c) Any assignment under this contract shall cover all amounts payable under this contract and not already paid, and shall

L0: not be made to more than one party, except that any such assignment may be made to one party as agent or trustee for two

L0: or more parties participating in such financing. On each invoice or voucher submitted for payment under this contract to

L0: which any assignment applies, and for which direct payment thereof is to be made to an assignee, the Contractor shall?

L1: (1) Identify the assignee by name and complete address; and

L1: (2) Acknowledge the validity of the assignment and the right of the named assignee to receive payment in the amount

L0: invoiced or vouchered.

L0: (End of clause)

252.232-7009 Mandatory Payment by Governmentwide Commercial Purchase Card

Status: active

L0: 252.232-7009 Mandatory Payment by Governmentwide Commercial Purchase Card.

L0: As prescribed in 232.1110 , use the following clause:

L0: MANDATORY PAYMENT BY GOVERNMENTWIDE COMMERCIAL PURCHASE CARD (MAY 2018)

L0: The Contractor agrees to accept the Governmentwide commercial purchase card as the method of payment for orders or

L0: calls valued at or below the micro-purchase threshold in part 202 of the Defense Federal Acquisition Regulation

L0: Supplement, under this contract or agreement.

L0: (End of clause)

252.232-7010 Levies on Contract Payments

Status: active

L0: 252.232-7010 Levies on Contract Payments.

L0: As prescribed in 232.7102 , use the following clause:

L0: LEVIES ON CONTRACT PAYMENTS (DEC 2006)

L1: (a) 26 U.S.C. 6331(h) authorizes the Internal Revenue Service (IRS) to continuously levy up to 100 percent of contract

L0: payments, up to the amount of tax debt.

L1: (b) When a levy is imposed on a payment under this contract and the Contractor believes that the levy may result in an

L0: inability to perform the contract, the Contractor shall promptly notify the Procuring Contracting Officer in writing, with a

L0: copy to the Administrative Contracting Officer, and shall provide?

L1: (1) The total dollar amount of the levy;

L1: (2) A statement that the Contractor believes that the levy may result in an inability to perform the contract, including

L0: rationale and adequate supporting documentation; and

L1: (3) Advice as to whether the inability to perform may adversely affect national security, including rationale and adequate

L0:supporting documentation.

L1:(c) DoD shall promptly review the Contractor's assessment, and the Procuring Contracting Officer shall provide a written

L0:notification to the Contractor including-

L1:(1) A statement as to whether DoD agrees that the levy may result in an inability to perform the contract; and

L1:(2)(i) If the levy may result in an inability to perform the contract and the lack of performance will adversely affect national

L0:security, the total amount of the monies collected that should be returned to the Contractor; or

L1:(ii) If the levy may result in an inability to perform the contract but will not impact national security, a recommendation

L0:that the Contractor promptly notify the IRS to attempt to resolve the tax situation.

L1:(d) Any DoD determination under this clause is not subject to appeal under the Contract Disputes Act.

L0:(End of clause)

252.232-7011 Payments in Support of Emergencies and Contingency Operations

Status: active

L0:252.232-7011 Payments in Support of Emergencies and Contingency Operations.

L0:As prescribed in 232.908 , use the following clause:

L0:PAYMENTS IN SUPPORT OF EMERGENCIES AND CONTINGENCY OPERATIONS (MAY 2013)

L1:(a) Definitions of pertinent terms are set forth in sections 2.101, 32.001, and 32.902 of the Federal Acquisition Regulation.

L1:(b) Notwithstanding any other payment clause in this contract, the Government will make invoice payments under the

L0:terms and conditions specified in this clause. The Government considers payment as being made on the day a check is

L0:dated or the date of an electronic funds transfer.

L1:(c) Invoice payments.

L1:(1) Due date.

L1:(i) Payment will be made as soon as possible once a proper invoice is received and matched with the contract and the

L0:receiving/acceptance report.

L1:(ii) If the contract does not require submission of an invoice for payment (e.g., periodic lease payments), the due date will

L0:be as specified in the contract.

L1:(2) Contractor's invoice. The Contractor shall prepare and submit invoices to the designated billing office specified in the

L0:contract. A proper invoice should include the items listed in paragraphs (c)(2)(i) through (c)(2)(x) of this clause.

L1:(i) Name and address of the Contractor.

L1:(ii) Invoice date and invoice number. (The Contractor should date invoices as close as possible to the date of the mailing or

L0:transmission.)

L1:(iii) Contract number or other authorization for supplies delivered or services performed (including order number and L0:contract line item number).

L1:(iv) Description, quantity, unit of measure, unit price, and extended price of supplies delivered or services performed.

L1:(v) Shipping and payment terms (e.g., shipment number and date of shipment, discount for prompt payment terms).
Bill of

L0:lading number and weight of shipment will be shown for shipments on Government bills of lading.

L1:(vi) Name and address of Contractor official to whom payment is to be sent (must be the same as that in the contract or in a

L0:proper notice of assignment).

L1:(vii) Name (where practicable), title, phone number, and mailing address of person to notify in the event of a defective

L0:invoice.

L1:(viii) Taxpayer Identification Number (when required). The taxpayer identification number is required for all payees

L0:subject to the U.S. Internal Revenue Code.

L1:(ix) Electronic funds transfer banking information.

L1:(A) The Contractor shall include electronic funds transfer banking information on the invoice only if required elsewhere in

L0:this contract.

L1:(B) If electronic funds transfer banking information is not required to be on the invoice, in order for the invoice to be a L0:proper invoice, the Contractor shall have submitted correct electronic funds transfer banking information in accordance

L0:with the applicable solicitation provision (e.g., FAR 52.232-38, Submission of Electronic Funds Transfer Information with

L0:Offer), contract clause (e.g., FAR 52.232-33, Payment by Electronic Funds Transfer?System for Award Management, or

L0:FAR 52.232-34, Payment by Electronic Funds Transfer-Other Than System for Award Management), or applicable agency

L0:procedures.

L1:(C) Electronic funds transfer banking information is not required if the Government waived the requirement to pay by L0:electronic funds transfer.

L1:(x) Any other information or documentation required by the contract (e.g., evidence of shipment).

L1:(3) Discounts for prompt payment. The designated payment office will take cost-effective discounts if the payment is made

L0:within the discount terms of the contract.

L1:(4) Contract financing payment. If this contract provides for contract financing, the Government will make contract L0:financing payments in accordance with the applicable contract financing clause.

L1:(5) Overpayments. If the Contractor becomes aware of a duplicate contract financing or invoice payment or that the L0:Government has otherwise overpaid on a contract financing or invoice payment, the Contractor shall?

L1:(i) Remit the overpayment amount to the payment office cited in the contract along with a description of the overpayment,

L0:including the?

L1:(A) Circumstances of the overpayment (e.g., duplicate payment, erroneous payment, liquidation errors, date(s) of L0:overpayment);

L1:(B) Affected contract number and delivery order number, if applicable;

L1:(C) Affected contract line item or subline item, if applicable; and

L1:(D) Contractor point of contact; and

L1:(ii) Provide a copy of the remittance and supporting documentation to the Contracting Officer.

L1:(d) This clause is applicable until otherwise notified by the Contracting Officer. Upon notification by issuance of a

contract

L0:modification, the appropriate FAR Prompt Payment clause in the contract becomes applicable.

L0:(End of clause)

252.232-7012 Performance-Based Payments?Whole-Contract Basis

Status: active

L0:252.232-7012 Performance-Based Payments?Whole-Contract Basis.

L0:As prescribed in 232.1005-70 (a)(1), use the following clause:

L0:PERFORMANCE-BASED PAYMENTS?WHOLE-CONTRACT BASIS (DEC 2022)

L1:(a) Performance-based payments shall form the basis for the contract financing payments provided under this contract, and

L0:shall apply to the whole contract. The performance-based payments schedule (Contract Attachment ____) describes the

L0:basis for payment, to include identification of the individual payment events, evidence of completion, and amount of L0:payment due upon completion of each event.

L1:(b) In accordance with 10 U.S.C. 3802(c), the Contractor?s financial statements shall be in compliance with Generally

L0:Accepted Accounting Principles in order to receive performance-based payments.

L1:(c)(1) The Contractor shall, in addition to providing the information required by FAR 52.232-32, submit information for all

L0:payment requests using the following format:

L0:Current performance-based

L0:payment(s) event(s) addressed by

L0:this request:

L0:Contractor shall identify?

L0:Amount

L0:Totals

L1:(1a) Negotiated value of all

L0:previously completed performance<https://www.acquisition.gov/node/36356/printable/print>

L0:based payment(s) event(s);

L1:(1b) Negotiated value of the

L0:current performance-based

L0:payment(s) event(s);

L1:(1c) Cumulative negotiated value

L0:of performance-based payment(s)

L0:events completed to date (1a) +

L1:(1b); and

L1:(2) Total costs incurred to date.

L1:(2) Incurred cost is determined by the Contractor?s accounting books and records, to which the Contractor shall provide

L0:access upon request of the Contracting Officer. An acceptable accounting system in accordance with DFARS 252.242-7006

L0:is not required for reporting of incurred costs under this clause. If the Contractor?s accounting system is not capable

of

L0:tracking costs on a job order basis, the Contractor shall provide a realistic approximation of the allocation of incurred costs

L0:attributable to this contract in accordance with the Contractor's accounting system. FAR 52.232-32(m) does not require

L0:certification of incurred costs.

L1:(d) Security for financing.

L1:(1) Title to the property described in paragraph (f) of the clause at FAR 52.232-32, Performance-Based Payments, is the

L0:preferred security for receipt of performance-based payments.

L1:(2)(i) If the Contractor's accounting system is not capable of identifying and tracking through the build cycle the property

L0:that is allocable and properly chargeable to this contract, the Contracting Officer may consider acceptance of one or a

L0:combination of the following alternative forms of security sufficient to constitute adequate security for the performancebased payments and so specify in the contract, consistent with FAR 32.202-4:

L1:(A) A paramount lien on assets.

L1:(B) An irrevocable letter of credit from a federally insured financial institution.

L1:(C) A bond from a surety, acceptable in accordance with FAR part 28.

L1:(D) A guarantee of repayment from a person or corporation of demonstrated liquid net worth, connected by significant

L0:ownership interest to the Contractor.

L1:(E) Title to identified Contractor assets of adequate worth.

L1:(ii) Paragraph (f) of the clause at FAR 52.232-32 does not apply to the extent that the Contractor and the Contracting

L0:Officer agree on alternative forms of security. In the event the Contractor fails to provide adequate security, as required in

L0:this contract, no financing payment will be made under this contract. Upon receipt of adequate security, financing

L0:payments will be made, including all previous payments to which the Contractor is entitled, in accordance with the terms

L0:of the provisions for contract financing. If at any time the Contracting Officer determines that the security provided by the

L0:Contractor is insufficient, the Contractor shall promptly provide such additional security as the Contracting Officer

L0:determines necessary. In the event the Contractor fails to provide such additional security, the Contracting Officer may

L0:collect or liquidate such security that has been provided and suspend further payments to the Contractor; and the Contractor

L0:shall repay to the Government the amount of unliquidated financing payments as the Contracting Officer at his sole

L0:discretion deems repayable.

L0:(End of clause)

252.232-7013 Performance-Based Payments?Deliverable-Item Basis

Status: active

L0:252.232-7013 Performance-Based Payments?Deliverable-Item Basis.

L0:As prescribed in 232.1005-70 (a)(2), use the following clause:

L0:PERFORMANCE-BASED PAYMENTS-DELIVERABLE-ITEM BASIS (DEC 2022)

L1:(a) Performance-based payments shall form the basis for the contract financing payments provided under this contract and

L0:shall apply to Contract Line Item Numbers (CLIN(s)) _[Contracting Officer insert applicable CLIN(s)]_. The

L0:performance-based payments schedule (Contract Attachment ____) describes the basis for payment, to include

L0:identification of the individual payment events, CLINs to which each event applies, evidence of completion, and amount of

L0:payment due upon completion of each event.

L1:(b) In accordance with 10 U.S.C. 3802(c), the Contractor?s financial statements shall be in compliance with Generally

L0:Accepted Accounting Principles in order to receive performance-based payments.

L1:(c)(1) The Contractor shall, in addition to providing the information required by FAR 52.232-32, submit information for all

L0:payment requests using the following format:

L0:Current performance-based

L0:payment(s) event(s) addressed by

L0:this request:

L0:Contractor shall identify?

L0:Amount

L0:Totals

L1:(1a) Negotiated value of all

L0:previously completed performancebased payment(s) event(s);

L1:(1b) Negotiated value of the

L0:current performance-based

L0:payment(s) event(s);

L1:(1c) Cumulative negotiated value

L0:of performance-based payment(s)

L0:event(s) completed to date (1a) +

L1:(1b); and

L1:(2) Total costs incurred to date.

L1:(2) Incurred cost is determined by the Contractor?s accounting books and records, to which the Contractor shall provide

L0:access upon request of the Contracting Officer. An acceptable accounting system in accordance with DFARS 252.242-7006

L0:is not required for reporting of incurred costs under this clause. If the Contractor?s accounting system is not capable of

L0:tracking costs on a job order basis, the Contractor shall provide a realistic approximation of the allocation of incurred costs

L0:attributable to this contract in accordance with the Contractor?s accounting system. FAR 52.232-32(m) does not require

L0:certification of incurred costs.

L1:(d) Security for financing.

L1:(1) Title to the property described in paragraph (f) of the clause at FAR 52.232-32, Performance-Based Payments, is

the

L0:preferred security for receipt of performance-based payments.

L1:(2)(i) If the Contractor's accounting system is not capable of identifying and tracking through the build cycle the property

L0:that is allocable and properly chargeable to this contract, the Contracting Officer may consider acceptance of one or a

L0:combination of the following alternative forms of security sufficient to constitute adequate security for the performancebased payments and so specify in the contract, consistent with FAR 32.202-4:

L1:(A) A paramount lien on assets.

L1:(B) An irrevocable letter of credit from a federally insured financial institution.

L1:(C) A bond from a surety, acceptable in accordance with FAR part 28.

L1:(D) A guarantee of repayment from a person or corporation of demonstrated liquid net worth, connected by significant

L0:ownership interest to the Contractor.

L1:(E) Title to identified Contractor assets of adequate worth.

L1:(ii) Paragraph (f) of the clause at FAR 52.232-32 does not apply to the extent that the Contractor and the Contracting

L0:Officer agree on alternative forms of security. In the event the Contractor fails to provide adequate security, as required in

L0:this contract, no financing payment will be made under this contract. Upon receipt of adequate security, financing

L0:payments will be made, including all previous payments to which the Contractor is entitled, in accordance with the terms

L0:of the provisions for contract financing. If at any time the Contracting Officer determines that the security provided by the

L0:Contractor is insufficient, the Contractor shall promptly provide such additional security as the Contracting Officer

L0:determines necessary. In the event the Contractor fails to provide such additional security, the Contracting Officer may

L0:collect or liquidate such security that has been provided and suspend further payments to the Contractor; and the Contractor

L0:shall repay to the Government the amount of unliquidated financing payments as the Contracting Officer at his sole

L0:discretion deems repayable.

L0:(End of clause)

252.232-7015 Performance-Based Payments?Representation

Status: active

L0:252.232-7015 Performance-Based Payments?Representation.

L0:As prescribed in 232.1005-70 (b), use the following provision:

L0:PERFORMANCE-BASED PAYMENTS?REPRESENTATION (DEC 2022)

L1:(a) In accordance with 10 U.S.C. 3802(c), the Contractor's financial statements shall be in compliance with Generally

L0:Accepted Accounting Principles in order to receive performance-based payments.

L1:(b) The Offeror represents that its financial statements are [] are not [] in compliance with Generally Accepted

L0:Accounting Principles.

L0:(End of provision)

252.232-7016 Notice of Progress Payments or Performance-Based Payments

Status: active

L0:252.232-7016 Notice of Progress Payments or Performance-Based Payments.

L0:As prescribed in 232.1005-70 (c), insert the following provision:

L0:NOTICE OF PROGRESS PAYMENTS OR PERFORMANCE-BASED PAYMENTS (APR 2020)

L1:(a) The need for customary progress payments in accordance with subpart 32.5 of the Federal Acquisition Regulation

L1:(FAR) or performance-based payments in accordance with FAR subpart 32.10 will not be considered as a handicap or

L0:adverse factor in the award of the contract.

L1:(b) This solicitation includes a FAR and Defense Federal Acquisition Regulation Supplement (DFARS) clause for

L0:performance-based payments and a FAR clause for progress payments. The resultant contract will include either

L0:performance-based payments or progress payments, not both, except as may be authorized on separate orders subject to

L0:FAR 32.1003(c).

L1:(1) The performance-based payments clauses will be included in the contract if?

L1:(i) The Offeror has provided positive representation in response to DFARS 252.232-7015 , Performance-Based Payments

L0:Representation;

L1:(ii) The Offeror proposes a performance-based payment arrangement in accordance with FAR 52.232-28, Invitation to

L0:Propose Performance-Based Payments, including proposed events and timing, event completion criteria, event values, and

L0:expected expenditure profile; and

L1:(iii) The Offeror and the Government reach agreement on all aspects of the arrangement.

L1:(2) If performance-based payments clauses are not included in the resultant contract, the progress payments clause included

L0:in this solicitation will be included in any resultant contract, modified or altered if necessary in accordance with FAR

L0:52.232-16 and its Alternate I. Even though the progress payments clause is included in the contract, the clause shall be

L0:inoperative during any time the contractor's accounting system and controls are determined by the Government to be

L0:inadequate for segregation and accumulation of contract costs.

L0:(End of provision)

252.232-7018 Progress Payments-Multiple Lots

Status: active

L0:252.232-7018 Progress Payments-Multiple Lots.

L0:As prescribed in 232.502-4-70(c), use the following clause:

L0:PROGRESS PAYMENTS-MULTIPLE LOTS (MAY 2023)

L1:(a) Definitions. As used in this clause?

L0:?Lot? means one or more fixed-price deliverable line items or deliverable subline items representing a single, severable

L0:group where the sum of the costs for each group is segregated and a single progress payment rate is used.

L0:?Multiple lots? means more than one lot on a single contract where progress payment proration is performed on a lot-wide,

L0:versus contract-wide, basis.

L1:(b) When submitting progress payment requests under the billing instructions in Federal Acquisition Regulation (FAR)

L0:clause 52.232-16, Progress Payments, or Defense Federal Acquisition Regulation Supplement (DFARS) clause 252.2327002, Progress Payments for Foreign Military Sales Acquisitions, of this contract, the Contractor shall?

L1:(1) Submit separate progress payment requests for each lot identified in the contract;

L1:(2) Identify the contract price for the lot as the sum of all fixed-priced line items identified to the lot, in accordance with

L0:FAR 32.501-3;

L1:(3) Identify the lot on each progress payment request to which the request applies;

L1:(4) Calculate each request on the basis of the price, costs (including the cost to complete), subcontractor financing, and

L0:progress payment liquidations of the lot to which it applies; and

L1:(5) Distribute costs among lots in a manner acceptable to the Administrative Contracting Officer.

L1:(c) Submit a separate progress payment request for U.S. and FMS requirements in accordance with the DFARS clause

L0:252.232-7002, Progress Payments for Foreign Military Sales Acquisitions, of this contract.

L0:(End of clause)

252.233-7001 Choice of Law (Overseas)

Status: active

L0:252.233-7001 Choice of Law (Overseas).

L0:As prescribed in 233.215-70 , use the following clause:

L0:CHOICE OF LAW (OVERSEAS) (JUN 1997)

L0:This contract shall be construed and interpreted in accordance with the substantive laws of the United States of America.

L0:By the execution of this contract, the Contractor expressly agrees to waive any rights to invoke the jurisdiction of local

L0:national courts where this contract is performed and agrees to accept the exclusive jurisdiction of the United States Armed

L0:Services Board of Contract Appeals and the United States Court of Federal Claims for the hearing and determination of

L0:any and all disputes that may arise under the Disputes clause of this contract.

L0:(End of clause)

252.234-7001 Notice of Earned Value Management System

Status: active

L0:252.234-7001 Notice of Earned Value Management System.

L0:As prescribed in 234.203 (1), use the following provision:

L0:NOTICE OF EARNED VALUE MANAGEMENT SYSTEM (APR 2008)

L1:(a) If the offeror submits a proposal in the amount of \$50,000,000 or more?

L1:(1) The offeror shall provide documentation that the Cognizant Federal Agency (CFA) has determined that the proposed

L0:Earned Value Management System (EVMS) complies with the EVMS guidelines in the American National Standards

L0:Institute/Electronic Industries Alliance Standard 748, Earned Value Management Systems (ANSI/EIA-748) (current

L0:version at time of solicitation). The Government reserves the right to perform reviews of the EVMS when deemed

L0:necessary to verify compliance.

L1:(2) If the offeror proposes to use a system that has not been determined to be in compliance with the requirements of

L0:paragraph (a)(1) of this provision, the offeror shall submit a comprehensive plan for compliance with the guidelines in

L0:ANSI/EIA-748.

L1:(i) The plan shall?

L1:(A) Describe the EVMS the offeror intends to use in performance of the contract, and how the proposed EVMS complies

L0:with the EVMS guidelines in ANSI/EIA-748;

L1:(B) Distinguish between the offeror's existing management system and modifications proposed to meet the EVMS

L0:guidelines;

L1:(C) Describe the management system and its application in terms of the EVMS guidelines;

L1:(D) Describe the proposed procedure for administration of the EVMS guidelines as applied to subcontractors; and

L1:(E) Describe the process the offeror will use to determine subcontractor compliance with ANSI/EIA-748.

L1:(ii) The offeror shall provide information and assistance as required by the Contracting Officer to support review of the

L0:plan.

L1:(iii) The offeror's EVMS plan must provide milestones that indicate when the offeror anticipates that the EVMS will be

L0:compliant with the guidelines in ANSI/EIA-748.

L1:(b) If the offeror submits a proposal in an amount less than \$50,000,000?

L1:(1) The offeror shall submit a written description of the management procedures it will use and maintain in the

L0:performance of any resultant contract to comply with the requirements of the Earned Value Management System clause of

L0:the contract. The description shall include?

L1:(i) A matrix that correlates each guideline in ANSI/EIA-748 (current version at time of solicitation) to the corresponding

L0:process in the offeror's written management procedures; and

L1:(ii) The process the offeror will use to determine subcontractor compliance with ANSI/EIA-748.

L1:(2) If the offeror proposes to use an EVMS that has been determined by the CFA to be in compliance with the EVMS

L0:guidelines in ANSI/EIA-748, the offeror may submit a copy of the documentation of such determination instead of the

L0:written description required by paragraph (b)(1) of this provision.

L1:(c) The offeror shall identify the subcontractors (or the subcontracted effort if subcontractors have not been selected) to

L0:whom the EVMS requirements will apply. The offeror and the Government shall agree to the subcontractors or the

L0:subcontracted effort selected for application of the EVMS requirements. The offeror shall be responsible for ensuring that

L0:the selected subcontractors comply with the requirements of the Earned Value Management System clause of the contract.

L0:(End of provision)

252.234-7002 Earned Value Management System

Status: active

L0:252.234-7002 Earned Value Management System.

L0:As prescribed in 234.203 (2), use the following clause:

L0:EARNED VALUE MANAGEMENT SYSTEM (JAN 2025)

L1:(a) Definitions. As used in this clause??

L0:?"Acceptable earned value management system?" means an earned value management system that generally complies with

L0:system criteria in paragraph (b) of this clause.

L0:?"Earned value management system?" means an earned value management system that complies with the earned value

L0:management system guidelines in the ANSI/EIA-748.

L0:?"Material weakness?" means a deficiency or combination of deficiencies in the internal control over information in

L0:contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will

L0:not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an

L0:event occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L1:(b) System criteria. In the performance of this contract, the Contractor shall use?

L1:(1) An Earned Value Management System (EVMS) that complies with the EVMS guidelines in the American National Standards Institute/Electronic Industries Alliance Standard 748, Earned Value Management Systems (ANSI/EIA-748); and

L1:(2) Management procedures that provide for generation of timely, reliable, and verifiable information for the Contract

L0:Performance Report (CPR) and the Integrated Master Schedule (IMS) required by the CPR and IMS data items of this

L0:contract.

L1:(c) If this contract has a value of \$50 million or more, the Contractor shall use an EVMS that has been determined to be

L0:acceptable by the Cognizant Federal Agency (CFA). If, at the time of award, the Contractor?s EVMS has not been

L0:determined by the CFA to be in compliance with the EVMS guidelines as stated in paragraph (b)(1) of this clause, the

L0:Contractor shall apply its current system to the contract and shall take necessary actions to meet the milestones in the

L0:Contractor's EVMS plan.

L1:(d) If this contract has a value of less than \$50 million, the Government will not make a formal determination that the L0:Contractor's EVMS complies with the EVMS guidelines in ANSI/EIA-748 with respect to the contract. The use of the L0:Contractor's EVMS for this contract does not imply a Government determination of the Contractor's compliance with the

L0:EVMS guidelines in ANSI/EIA-748 for application to future contracts. The Government will allow the use of a L0:Contractor's EVMS that has been formally reviewed and determined by the CFA to be in compliance with the EVMS L0:guidelines in ANSI/EIA-748.

L1:(e) The Contractor shall submit notification of any proposed substantive changes to the EVMS procedures and the impact

L0:of those changes to the CFA. If this contract has a value of \$50 million or more, unless a waiver is granted by the CFA, any

L0:EVMS changes proposed by the Contractor require approval of the CFA prior to implementation. The CFA will advise the

L0:Contractor of the acceptability of such changes as soon as practicable (generally within 30 calendar days) after receipt of

L0:the Contractor's notice of proposed changes. If the CFA waives the advance approval requirements, the Contractor shall

L0:disclose EVMS changes to the CFA at least 14 calendar days prior to the effective date of implementation.

L1:(f) The Government will schedule integrated baseline reviews as early as practicable, and the review process will be L0:conducted not later than 180 calendar days after?

L1:(1) Contract award;

L1:(2) The exercise of significant contract options; and

L1:(3) The incorporation of major modifications.

L0:During such reviews, the Government and the Contractor will jointly assess the Contractor's baseline to be used for L0:performance measurement to ensure complete coverage of the statement of work, logical scheduling of the work activities,

L0:adequate resourcing, and identification of inherent risks.

L1:(g) The Contractor shall provide access to all pertinent records and data requested by the Contracting Officer or duly L0:authorized representative as necessary to permit Government surveillance to ensure that the EVMS complies, and L0:continues to comply, with the performance criteria referenced in paragraph (b) of this clause.

L1:(h) When indicated by contract performance, the Contractor shall submit a request for approval to initiate an over-target

L0:baseline or over-target schedule to the Contracting Officer. The request shall include a top-level projection of cost and/or

L0:schedule growth, a determination of whether or not performance variances will be retained, and a schedule of L0:implementation for the rebaselining. The Government will acknowledge receipt of the request in a timely manner L0:(generally within 30 calendar days).

L1:(i) Material weaknesses.

L1:(1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any material weaknesses.

L0:The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand

L0:the weakness or deficiency.

L1:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that

L0:identifies material weaknesses in the Contractor's EVMS. If the Contractor disagrees with the initial determination, the

L0:Contractor shall state, in writing, its rationale for disagreeing.

L1:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting

L0:Officer's final determination concerning?

L1:(i) Remaining material weaknesses;

L1:(ii) The adequacy of any proposed or completed corrective action;

L1:(iii) System noncompliance, when the Contractor's existing EVMS fails to comply with the earned value management

L0:system guidelines in the ANSI/EIA-748; and

L1:(iv) System disapproval, if initial EVMS validation is not successfully completed within the timeframe approved by the

L0:Contracting Officer, or if the Contracting Officer determines that the Contractor's earned value management system

L0:contains one or more material weaknesses in high-risk guidelines in ANSI/EIA-748 standards (guidelines 1, 3, 6, 7, 8, 9,

L0:10, 12, 16, 21, 23, 26, 27, 28, 30, or 32). When the Contracting Officer determines that the existing earned value

L0:management system contains one or more material weaknesses in one or more of the remaining 16 guidelines in

L0:ANSI/EIA-748 standards, the Contracting Officer will use discretion to disapprove the system based on input received

L0:from functional specialists and the auditor.

L1:(4) If the Contractor receives the Contracting Officer's final determination of material weaknesses, the Contractor shall,

L0:within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable

L0:corrective action plan showing milestones and actions to eliminate the material weaknesses.

L1:(j) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor's EVMS,

L0:and the contract includes the clause at 252.242-7005 , Contractor Business Systems, the Contracting Officer will withhold

L0:payments in accordance with that clause.

L1:(k) Subcontracts. With the exception of paragraphs (i) and (j) of this clause, the Contractor shall require its subcontractors

L0:to comply with EVMS requirements as follows:

L1:(1) For subcontracts valued at \$50 million or more, the following subcontractors shall comply with the requirements of this

L0:clause:

L0:[Contracting Officer to insert names of subcontractors (or subcontracted effort if subcontractors have not been selected)

L0:designated for application of the EVMS requirements of this clause.]

L1:(2) For subcontracts valued at less than \$50 million, the following subcontractors shall comply with the requirements of

L0:this clause, excluding the requirements of paragraph (c) of this clause:

L0:[Contracting Officer to insert names of subcontractors (or subcontracted effort if subcontractors have not been selected)

L0:designated for application of the EVMS requirements of this clause.]

L0:(End of clause)

252.234-7003 Notice of Cost and Software Data Reporting System

Status: active

L0:252.234-7003 Notice of Cost and Software Data Reporting System.

L0:Basic. As prescribed in 234.7101 (a) and (a)(1), use the following provision:

L0:NOTICE OF COST AND SOFTWARE DATA REPORTING SYSTEM?BASIC (NOV 2014)

L1:(a) This solicitation includes?

L1:(1) The Government-approved cost and software data reporting (CSDR) plan for the contract, DD Form 2794; and

L1:(2) The related Resource Distribution Table.

L1:(b) As part of its proposal, the Offeror shall?

L1:(1) Describe the process to be used to satisfy the requirements of the DoD 5000.04-M-1, CSDR Manual, and the

L0:Government-approved CSDR plan for the proposed contract;

L1:(2) Demonstrate how contractor cost and data reporting (CCDR) will be based, to the maximum extent possible, upon

L0:actual cost transactions and not cost allocations;

L1:(3) Demonstrate how the data from its accounting system will be mapped into the standard reporting categories required in

L0:the CCDR data item descriptions;

L1:(4) Describe how recurring and nonrecurring costs will be segregated;

L1:(5) Provide comments on the adequacy of the CSDR contract plan and related Resource Distribution Table; and

L1:(6) Submit the DD Form 1921, Cost Data Summary Report, and DD Form 1921-1, Functional Cost-Hour Report, with its

L0:pricing proposal.

L1:(c) CSDR reporting will be required for subcontractors at any tier with a subcontract that exceeds \$50 million. The offeror

L0:shall identify, by providing comments on the Resource Distribution Table, the subcontractors, or, if the subcontractors have

L0:not been selected, the subcontracted effort in this category.

L0:(End of provision)

L0:Alternate I. As prescribed in 234.7101 (a) and (a)(2), use the following provision, which uses a different paragraph (c) than

L0:the basic provision:

L0:NOTICE OF COST AND SOFTWARE DATA REPORTING SYSTEM

L0:?ALTERNATE I (NOV 2014)

L1:(a) This solicitation includes?

L1:(1) The Government-approved cost and software data reporting (CSDR) plan for the contract, DD Form 2794; and

L1:(2) The related Resource Distribution Table.

L1:(b) As part of its proposal, the Offeror shall?

L1:(1) Describe the process to be used to satisfy the requirements of the DoD 5000.04-M-1, CSDR Manual, and the

L0:Government-approved CSDR plan for the proposed contract;

L1:(2) Demonstrate how contractor cost and data reporting (CCDR) will be based, to the maximum extent possible,

upon

L0:actual cost transactions and not cost allocations;

L1:(3) Demonstrate how the data from its accounting system will be mapped into the standard reporting categories required in

L0:the CCDR data item descriptions;

L1:(4) Describe how recurring and nonrecurring costs will be segregated;

L1:(5) Provide comments on the adequacy of the CSDR contract plan and related Resource Distribution Table; and

L1:(6) Submit the DD Form 1921, Cost Data Summary Report, and DD Form 1921-1, Functional Cost-Hour Report, with its

L0:pricing proposal.

L1:(c) CSDR reporting will be required for subcontractors for selected subcontracts identified in the CSDR contract plan as

L0:requiring such reporting. The offeror shall identify, by providing comments on the Resource Distribution Table, the

L0:subcontractors, or, if the subcontractors have not been selected, the subcontracted effort.

L0:(End of provision)

252.234-7004 Cost and Software Data Reporting System

Status: active

L0:252.234-7004 Cost and Software Data Reporting System.

L0:Basic. As prescribed in 234.7101 (b) and (b)(1), use the following clause:

L0:COST AND SOFTWARE DATA REPORTING SYSTEM?BASIC (NOV 2014)

L1:(a) In the performance of this contract, the Contractor shall use?

L1:(1) A documented standard cost and software data reporting (CSDR) process that satisfies the guidelines contained in the

L0:DoD 5000.04-M-1, CSDR Manual;

L1:(2) Management procedures that provide for generation of timely and reliable information for the contractor cost data L0:reports (CCDRs) and software resources data reports (SRDRs) required by the CCDR and SRDR data items of this

L0:contract; and

L1:(3) The Government-approved CSDR plan for this contract, DD Form 2794, and the related Resource Distribution Table as

L0:the basis for reporting in accordance with the required CSDR data item descriptions (DIDs).

L1:(b) The Contractor shall require CSDR reporting from subcontractors at any tier with a subcontract that exceeds \$50

L0:million. If, for subcontracts that exceed \$50 million, the Contractor changes subcontractors or makes new subcontract

L0:awards, the Contractor shall notify the Government.

L0:(End of clause)

L0:Alternate I. As prescribed in 234.7101 (b) and (b)(2), use the following clause, which uses a different paragraph (b) than

L0:the basic clause:

L0:COST AND SOFTWARE DATA REPORTING SYSTEM?ALTERNATE I

L0:(NOV 2014)

L1:(a) In the performance of this contract, the Contractor shall use?

L1:(1) A documented standard cost and software data reporting (CSDR) process that satisfies the guidelines contained

in the

L0:DoD 5000.04-M-1, CSDR Manual;

L1:(2) Management procedures that provide for generation of timely and reliable information for the contractor cost data

L0:reports (CCDRs) and software resources data reports (SRDRs) required by the CCDR and SRDR data items of this

L0:contract; and

L1:(3) The Government-approved CSDR plan for this contract, DD Form 2794, and the related Resource Distribution Table as

L0:the basis for reporting in accordance with the required CSDR data item descriptions (DIDs).

L1:(b) The Contractor shall require CSDR reporting from selected subcontractors identified in the CSDR contract plan as

L0:requiring such reporting. If the Contractor changes subcontractors or makes new awards for selected subcontract effort, the

L0:Contractor shall notify the Government.

L0:(End of clause)

252.235-7000 Indemnification Under 10 U.S.C. 3861?Fixed Price

Status: active

L0:252.235-7000 Indemnification Under 10 U.S.C. 3861?Fixed Price.

L0:As prescribed in 235.070-3 , use the following clause:

L0:INDEMNIFICATION UNDER 10 U.S.C. 3861?FIXED PRICE (DEC 2022)

L1:(a) This clause provides for indemnification under 10 U.S.C. 3861 if the Contractor meets all the terms and conditions of

L0:this clause.

L1:(b) Claims, losses, and damages covered?

L1:(1) Claims by third persons for death, bodily injury, sickness, or disease, or the loss, damage, or lost use of property.

L0:Claims include those for reasonable expenses of litigation or settlement. The term "third persons" includes employees of

L0:the contractor;

L1:(2) The loss, damage, and lost use of the Contractor's property, but excluding lost profit; and

L1:(3) Loss, damage, or lost use of the Government's property.

L1:(c) The claim, loss, or damage?

L1:(1) Must arise from the direct performance of this contract;

L1:(2) Must not be compensated by insurance or other means, or be within deductible amounts of the Contractor's insurance;

L1:(3) Must result from an unusually hazardous risk as specifically defined in the contract;

L1:(4) Must not result from willful misconduct or lack of good faith on the part of any of the Contractor's directors or officers,

L0:managers, superintendents, or other equivalent representatives who have supervision or direction of?

L1:(i) All or substantially all of the Contractor's business;

L1:(ii) All or substantially all of the Contractor's operations at any one plant or separate location where this contract is being

L0:performed; or

L1:(iii) A separate and complete major industrial operation connected with the performance of this contract;

L1:(5) Must not be a liability assumed under any contract or agreement (except for subcontracts covered by paragraph (h) of

L0:this clause), unless the Contracting Officer (or in contracts with the Department of the Navy, the Department) specifically

L0:approved the assumption of liability; and

L1:(6) Must be certified as just and reasonable by the Secretary of the department or designated representative.

L1:(d) The Contractor shall buy and maintain, to the extent available, insurance against unusually hazardous risks in the form,

L0:amount, period(s) of time, at the rate(s), and with such insurers, as the Contracting Officer (or, for Navy contracts, the

L0:Department) may from time to time require and approve. If the cost of this insurance is higher than the cost of the

L0:insurance the Contractor had as of the date of the contract, the Government shall reimburse the Contractor for the

L0:difference in cost, as long as it is properly allocable to this contract and is not included in the contract price. The

L0:Government shall not be liable for claims, loss, or damage if insurance was available and is either required or approved

L0:under this paragraph.

L1:(e) A reduction of the insurance coverage maintained by the Contractor on the date of the execution of this contract shall

L0:not increase the Government's liability under this clause unless the Contracting Officer consents, and the contract price is

L0:equitably adjusted, if appropriate, to reflect the Contractor's consideration for the Government's assumption of increased

L0:liability.

L1:(f) Notice. The Contractor shall?

L1:(1) Promptly notify the Contracting Officer of any occurrence, action, or claim that might trigger the Government's liability

L0:under this clause;

L1:(2) Furnish the proof or evidence of any claim, loss, or damage in the form and manner that the Government requires; and

L1:(3) Immediately provide copies of all pertinent papers that the Contractor receives or has received.

L1:(g) The Government may direct, participate in, and supervise the settlement or defense of the claim or action. The

L0:Contractor shall comply with the Government's directions and execute any authorizations required.

L1:(h) Flowdown. The Government shall indemnify the Contractor if the Contractor has an obligation to indemnify a

L0:subcontractor under any subcontract at any tier under this contract for the unusually hazardous risk identified in this

L0:contract only if?

L1:(1) The Contracting Officer gave prior written approval for the Contractor to provide in a subcontract for the Contractor to

L0:indemnify the subcontractor for unusually hazardous risks defined in this contract;

L1:(2) The Contracting Officer approved those indemnification provisions;

L1:(3) The subcontract indemnification provisions entitle the Contractor, or the Government, or both, to direct, participate in,

L0:and supervise the settlement or defense of relevant actions and claims; and

L1:(4) The subcontract provides the same rights and duties, the same provisions for notice, furnishing of papers and the like,

L0:between the Contractor and the subcontractor, as exist between the Government and the Contractor under this

clause.

L1:(i) The Government may discharge its obligations under paragraph (h) of this clause by making payments directly to L0:subcontractors or to persons to whom the subcontractors may be liable.

L1:(j) The rights and obligations of the parties under this clause shall survive the termination, expiration, or completion of this

L0:contract.

L0:(End of clause)

252.235-7001 Indemnification Under 10 U.S.C. 3861?Cost Reimbursement

Status: active

L0:252.235-7001 Indemnification Under 10 U.S.C. 3861?Cost Reimbursement.

L0:As prescribed in 235.070-3 , use the following clause:

L0:INDEMNIFICATION UNDER 10 U.S.C. 3861?COST REIMBURSEMENT(DEC 2022)

L1:(a) This clause provides for indemnification under 10 U.S.C. 3861 if the Contractor meets all the terms and conditions of

L0:this clause.

L1:(b) Claims, losses, and damages covered?

L1:(1) Claims by third persons for death, bodily injury, sickness, or disease, or the loss, damage, or lost use of property.

L0:Claims include those for reasonable expenses of litigation or settlement. The term "third persons" includes employees of

L0:the Contractor;

L1:(2) The loss, damage, and lost use of the Contractor's property, but excluding lost profit; and

L1:(3) Loss, damage, or lost use of the Government's property.

L1:(c) The claim, loss, or damage?

L1:(1) Must arise from the direct performance of this contract;

L1:(2) Must not be compensated by insurance or other means, or be within deductible amounts of the Contractor's insurance;

L1:(3) Must result from an unusually hazardous risk as specifically defined in the contract;

L1:(4) Must not result from willful misconduct or lack of good faith on the part of any of the Contractor's directors or officers,

L0:managers, superintendents, or other equivalent representatives who have supervision or direction of?

L1:(i) All or substantially all of the Contractor's business;

L1:(ii) All or substantially all of the Contractor's operations at any one plant or separate location where this contract is being

L0:performed; or

L1:(iii) A separate and complete major industrial operation connected with the performance of this contract;

L1:(5) Must not be a liability assumed under any contract or agreement (except for subcontracts covered by paragraph (i) of

L0:this clause), unless the Contracting Officer (or in contracts with the Department of the Navy, the Department) specifically

L0:approved the assumption of liability; and

L1:(6) Must be certified as just and reasonable by the Secretary of the department or designated representative.

L1:(d) A reduction of the insurance coverage maintained by the Contractor on the date of the execution of this contract

shall

L0: not increase the Government's liability under this clause unless the Contracting Officer consents, and the contract price is

L0: equitably adjusted, if appropriate, to reflect the Contractor's consideration for the Government's assumption of increased

L0: liability.

L1: (e) Notice. The Insurance? Liability to Third Persons clause of this contract applies also to claims under this clause. In

L0: addition, the Contractor shall?

L1: (1) Promptly notify the Contracting Officer of any occurrence, action, or claim that might trigger the Government's liability

L0: under this clause;

L1: (2) Furnish the proof or evidence of any claim, loss, or damage in the form and manner that the Government requires; and

L1: (3) Immediately provide copies of all pertinent papers that the contractor receives or has received.

L1: (f) The Government may direct, participate in, and supervise the settlement or defense of the claim or action. The

L0: Contractor shall comply with the Government's directions, and execute any authorizations required.

L1: (g) The Limitation of Cost clause of this contract does not apply to the Government's obligations under this clause. The

L0: obligations under this clause are excepted from the release required by the Allowable Cost, Fee, and Payment clause of this

L0: contract.

L1: (h) Under this clause, a claim, loss, or damage arises from the direct performance of this contract if the cause of the claim,

L0: loss, or damage occurred during the period of performance of this contract or as a result of the performance of this contract.

L1: (i) Flowdown. The Government shall indemnify the Contractor if the Contractor has an obligation to indemnify a

L0: subcontractor under any subcontract at any tier under this contract for the unusually hazardous risk identified in this

L0: contract only if?

L1: (1) The Contracting Officer gave prior written approval for the Contractor to provide in a subcontract for the Contractor to

L0: indemnify the subcontractor for unusually hazardous risks defined in this contract;

L1: (2) The Contracting Officer approved those indemnification provisions;

L1: (3) The subcontract indemnification provisions entitle the Contractor, or the Government, or both, to direct, participate in,

L0: and supervise the settlement or defense of relevant actions and claims; and

L1: (4) The subcontract provides the same rights and duties, the same provisions for notice, furnishing of paper and the like,

L0: between the Contractor and the subcontractor, as exist between the Government and the Contractor under this clause.

L1: (j) The Government may discharge its obligations under paragraph (i) of this clause by making payments directly to

L0: subcontractors or to persons to whom the subcontractors may be liable.

L1: (k) The rights and obligations of the parties under this clause shall survive the termination, expiration, or completion of this

L0: contract.

L0:(End of clause)

252.235-7002 Animal Welfare

Status: active

L0:252.235-7002 Animal Welfare.

L0:As prescribed in 235.072 (a), use the following clause:

L0:ANIMAL WELFARE (DEC 2014)

L1:(a)(1) The Contractor shall register its research, development, test, and evaluation or training facility with the Secretary of

L0:Agriculture in accordance with 7 U.S.C. 2136 and 9 CFR subpart C, and section 2.30, unless otherwise exempt from this

L0:requirement by meeting the conditions in 7 U.S.C. 2136 and 9 CFR parts 1 through 4 for the duration of the activity. The

L0:Contractor shall have its proposed animal use approved in accordance with Department of Defense Instruction (DoDI)

L0:3216.01, Use of Animals in DoD Programs, by a DoD Component Headquarters Oversight Office. The Contractor shall

L0:furnish evidence of such registration and approval to the Contracting Officer before beginning work under this contract.

L1:(2) The Contractor shall make its animals, and all premises, facilities, vehicles, equipment, and records that support animal

L0:care available during business hours and at other times mutually agreeable to the Contractor and the United States

L0:Department of Agriculture Office of Animal and Plant Health Inspection Service (USDA/APHIS) representative, personnel

L0:representing the DoD component oversight offices, as well as the Contracting Officer, to ascertain that the Contractor is

L0:compliant with 7 U.S.C. 2131-2159 and 9 CFR parts 1 through 4.

L1:(b) The Contractor shall acquire animals in accordance with DoDI 3216.01, current at time of award

L0:(<http://www.dtic.mil/whs/directives/corres/pdf/321601p.pdf>).

L1:(c) The Contractor agrees that the care and use of animals will conform with the pertinent laws of the United States,

L0:regulations of the Department of Agriculture, and policies and procedures of the Department of Defense (see 7 U.S.C. 2131

L0:et seq., and 9 CFR subchapter A, parts 1 through 4, DoDI 3216.01, Army Regulation 40-33/ SECNAVINST

L0:3900.38C/AFMAN 40-401(I)/DARPAINST 18/USUHSINST 3203). The Contractor shall also comply with DoDI 1322.24,

L0:Medical Readiness Training, if this contract includes acquisition of training.

L1:(d) The Contracting Officer may immediately suspend, in whole or in part, work and further payments under this contract

L0:for failure to comply with the requirements of paragraphs (a) through (c) of this clause.

L1:(1) The suspension will stay in effect until the Contractor complies with the requirements.

L1:(2) Failure to complete corrective action within the time specified by the Contracting Officer may result in termination of

L0:this contract and, if applicable, removal of the Contractor's name from the approved vendor list for live animals used

in

L0:medical training.

L1:(e) The Contractor may request registration of its facility by contacting USDA/APHIS/AC, 4700 River Road, Unit 84, L0:Riverdale, MD 20737-1234, or via the APHIS Animal Care website at:

L0:<http://www.aphis.usda.gov/wps/portal/aphis/ourfocus/animalwelfare>.

L1:(f) The Contractor shall include the substance of this clause, including this paragraph (f), in all subcontracts involving L0:research, development, test, and evaluation or training that use live vertebrate animals.

L0:(End of clause)

252.235-7003 Frequency Authorization

Status: active

L0:252.235-7003 Frequency Authorization.

L0:Basic. As prescribed in 235.072 (b) and (b)(1), use the following clause:

L0:FREQUENCY AUTHORIZATION?BASIC (MAR 2014)

L1:(a) The Contractor shall obtain authorization for radio frequencies required in support of this contract.

L1:(b) For any experimental, developmental, or operational equipment for which the appropriate frequency allocation has not

L0:been made, the Contractor shall provide the technical operating characteristics of the proposed electromagnetic radiating

L0:device to the Contracting Officer during the initial planning, experimental, or developmental phase of contract

L0:performance.

L1:(c) The Contracting Officer shall furnish the procedures for obtaining radio frequency authorization.

L1:(d) The Contractor shall include this clause, including this paragraph (d), in all subcontracts requiring the development,

L0:production, construction, testing, or operation of a device for which a radio frequency authorization is required.

L0:(End of clause)

L0:Alternate I. As prescribed in 235.072 (b) and (b)(2), use the following clause, which uses a different paragraph (c) than the

L0:basic clause:

L0:FREQUENCY AUTHORIZATION?ALTERNATE I (MAR 2014)

L1:(a) The Contractor shall obtain authorization for radio frequencies required in support of this contract.

L1:(b) For any experimental, developmental, or operational equipment for which the appropriate frequency allocation has not

L0:been made, the Contractor shall provide the technical operating characteristics of the proposed electromagnetic radiating

L0:device to the Contracting Officer during the initial planning, experimental, or developmental phase of contract

L0:performance.

L1:(c) The contractor shall use DD Form 1494, Application for Equipment Frequency Allocation, to obtain radio frequency

L0:authorization.

L1:(d) The Contractor shall include this clause, including this paragraph (d), in all subcontracts requiring the development,

L0:production, construction, testing, or operation of a device for which a radio frequency authorization is required.

L0:(End of clause)

252.235-7004 Protection of Human Subjects

Status: active

L0:252.235-7004 Protection of Human Subjects.

L0:As prescribed in 235.072 (e), use the following clause:

L0:PROTECTION OF HUMAN SUBJECTS (JUL 2009)

L1:(a) Definitions. As used in this clause?

L1:(1) ?Assurance of compliance? means a written assurance that an institution will comply with requirements of 32 CFR Part

L0:219, as well as the terms of the assurance, which the Human Research Protection Official determines to be appropriate for

L0:the research supported by the Department of Defense (DoD) component (32 CFR 219.103).

L1:(2) ?Human Research Protection Official (HRPO)? means the individual designated by the head of the applicable DoD

L0:component and identified in the component?s Human Research Protection Management Plan as the official who is L0:responsible for the oversight and execution of the requirements of this clause, although some DoD components may use a

L0:different title for this position.

L1:(3) ?Human subject? means a living individual about whom an investigator (whether professional or student) conducting

L0:research obtains data through intervention or interaction with the individual, or identifiable private information (32 CFR

L0:219.102(f)). For example, this could include the use of human organs, tissue, and body fluids from individually identifiable

L0:living human subjects as well as graphic, written, or recorded information derived from individually identifiable living L0:human subjects.

L1:(4) ?Institution? means any public or private entity or agency (32 CFR 219.102(b)).

L1:(5) ?Institutional Review Board (IRB)? means a board established for the purposes expressed in 32 CFR Part 219 (32 CFR

L0:219.102(g)).

L1:(6) ?IRB approval? means the determination of the IRB that the research has been reviewed and may be conducted at an

L0:institution within the constraints set forth by the IRB and by other institutional and Federal requirements (32 CFR L0:219.102(h)).

L1:(7) ?Research? means a systematic investigation, including research, development, testing, and evaluation, designed to

L0:develop or contribute to generalizable knowledge. Activities that meet this definition constitute research for purposes of 32

L0:CFR Part 219, whether or not they are conducted or supported under a program that is considered research for other

L0:purposes. For example, some demonstration and service programs may include research activities (32 CFR 219.102(d)).

L1:(b) The Contractor shall oversee the execution of the research to ensure compliance with this clause. The Contractor shall

L0:comply fully with 32 CFR Part 219 and DoD Directive 3216.02, applicable DoD component policies, 10 U.S.C. 980, and,

L0:when applicable, Food and Drug Administration policies and regulations.

L1:(c) The Contractor shall not commence performance of research involving human subjects that is covered under 32 CFR

L0:Part 219 or that meets exemption criteria under 32 CFR 219.101(b), or expend funding on such effort, until and unless the

L0:conditions of either the following paragraph (c)(1) or (c)(2) have been met:

L1:(1) The Contractor furnishes to the HRPO, with a copy to the Contracting Officer, an assurance of compliance and IRB

L0:approval and receives notification from the Contracting Officer that the HRPO has approved the assurance as appropriate

L0:for the research under the Statement of Work and also that the HRPO has reviewed the protocol and accepted the IRB

L0:approval for compliance with the DoD component policies. The Contractor may furnish evidence of an existing assurance

L0:of compliance for acceptance by the HRPO, if an appropriate assurance has been approved in connection with previous

L0:research. The Contractor shall notify the Contracting Officer immediately of any suspensions or terminations of the L0:assurance.

L1:(2) The Contractor furnishes to the HRPO, with a copy to the Contracting Officer, a determination that the human research

L0:proposed meets exemption criteria in 32 CFR 219.101(b) and receives written notification from the Contracting Officer

L0:that the exemption is determined acceptable. The determination shall include citation of the exemption category under 32

L0:CFR 219.101(b) and a rationale statement. In the event of a disagreement regarding the Contractor?s furnished exemption

L0:determination, the HRPO retains final judgment on what research activities or classes of research are covered or are L0:exempt under the contract.

L1:(d) DoD staff, consultants, and advisory groups may independently review and inspect the Contractor?s research and

L0:research procedures involving human subjects and, based on such findings, DoD may prohibit research that presents

L0:unacceptable hazards or otherwise fails to comply with DoD procedures.

L1:(e) Failure of the Contractor to comply with the requirements of this clause will result in the issuance of a stop-work order

L0:under Federal Acquisition Regulation clause 52.242-15 to immediately suspend, in whole or in part, work and further

L0:payment under this contract, or will result in other issuance of suspension of work and further payment for as long as

L0:determined necessary at the discretion of the Contracting Officer.

L1:(f) The Contractor shall include the substance of this clause, including this paragraph (f), in all subcontracts that may

L0:include research involving human subjects in accordance with 32 CFR Part 219, DoD Directive 3216.02, and 10 U.S.C.

L0:980, including research that meets exemption criteria under 32 CFR 219.101(b). This clause does not apply to subcontracts

L0:that involve only the use of cadaver materials.

L0:(End of clause)

252.235-7010 Acknowledgment of Support and Disclaimer

Status: active

L0:252.235-7010 Acknowledgment of Support and Disclaimer.

L0:As prescribed in 235.072 (c), use the following clause:

L0:ACKNOWLEDGMENT OF SUPPORT AND DISCLAIMER (MAY 1995)

L1:(a) The Contractor shall include an acknowledgment of the Government's support in the publication of any material based

L0:on or developed under this contract, stated in the following terms: This material is based upon work supported by the

L0:(name of contracting agency(ies)) under Contract No. (Contracting agency(ies) contract number(s)).

L1:(b) All material, except scientific articles or papers published in scientific journals, must, in addition to any notices or

L0:disclaimers by the Contractor, also contain the following disclaimer: Any opinions, findings and conclusions or

L0:recommendations expressed in this material are those of the author(s) and do not necessarily reflect the views of the (name

L0:of contracting agency(ies)).

L0:(End of clause)

252.235-7011 Final Scientific or Technical Report

Status: active

L0:252.235-7011 Final Scientific or Technical Report.

L0:As prescribed in 235.072 (d), use the following clause:

L0:FINAL SCIENTIFIC OR TECHNICAL REPORT (DEC 2019)

L0:The Contractor shall?

L1:(a) Submit an electronic copy of the approved final scientific or technical report, not a summary, delivered under this L0:contract to the Defense Technical Information Center (DTIC)] through the web-based input system at

L0:https://discover.dtic.mil/submit-documents/ as required by DoD Instruction 3200.12, DoD Scientific and Technical

L0:Information Program (STIP). Include a completed Standard Form (SF) 298, Report Documentation Page, in the document,

L0:or complete the web-based SF 298.

L1:(b) For instructions on submitting multi-media reports, follow the instructions at https://discover.dtic.mil/submitdocuments/.

L1:(c) Email classified reports (up to Secret) to dtic.belvoir.da.mbx.tr@mail.smil.mil. If a SIPRNET email capability is not L0:available, follow the classified submission instructions at https://discover.dtic.mil/submit-documents/.

L0:(End of clause)

252.236-7000 Modification Proposals?Price Breakdown

Status: active

L0:252.236-7000 Modification Proposals?Price Breakdown.

L0:As prescribed in 236.570 (a), use the following clause:

L0:MODIFICATION PROPOSALS?PRICE BREAKDOWN (DEC 1991)

L1:(a) The Contractor shall furnish a price breakdown, itemized as required and within the time specified by the Contracting

L0:Officer, with any proposal for a contract modification.

L1:(b) The price breakdown?

L1:(1) Must include sufficient detail to permit an analysis of profit, and of all costs for?

L1:(i) Material;

L1:(ii) Labor;

L1:(iii) Equipment;

L1:(iv) Subcontracts; and

L1:(v) Overhead; and

L1:(2) Must cover all work involved in the modification, whether the work was deleted, added, or changed.

L1:(c) The Contractor shall provide similar price breakdowns to support any amounts claimed for subcontracts.

L1:(d) The Contractor's proposal shall include a justification for any time extension proposed.

L0:(End of clause)

252.236-7001 Contract Drawings and Specifications

Status: active

L0:252.236-7001 Contract Drawings and Specifications.

L0:As prescribed in 236.570 (a), use the following clause:

L0:CONTRACT DRAWINGS AND SPECIFICATIONS (AUG 2000)

L1:(a) The Government will provide to the Contractor, without charge, one set of contract drawings and specifications, except

L0:publications incorporated into the technical provisions by reference, in electronic or paper media as chosen by the

L0:Contracting Officer.

L1:(b) The Contractor shall?

L1:(1) Check all drawings furnished immediately upon receipt;

L1:(2) Compare all drawings and verify the figures before laying out the work;

L1:(3) Promptly notify the Contracting Officer of any discrepancies;

L1:(4) Be responsible for any errors that might have been avoided by complying with this paragraph (b); and

L1:(5) Reproduce and print contract drawings and specifications as needed.

L1:(c) In general?

L1:(1) Large-scale drawings shall govern small-scale drawings; and

L1:(2) The Contractor shall follow figures marked on drawings in preference to scale measurements.

L1:(d) Omissions from the drawings or specifications or the misdescription of details of work that are manifestly necessary to

L0:carry out the intent of the drawings and specifications, or that are customarily performed, shall not relieve the Contractor

L0:from performing such omitted or misdescribed details of the work. The Contractor shall perform such details as if fully and

L0:correctly set forth and described in the drawings and specifications.

L1:(e) The work shall conform to the specifications and the contract drawings identified on the following index of drawings:

L0>Title

L0:File

L0:Drawing No.

L0:(End of clause)

252.236-7002 Obstruction of Navigable Waterways

Status: active

L0:252.236-7002 Obstruction of Navigable Waterways.

L0:As prescribed in 236.570 (b)(1), use the following clause:

L0:OBSTRUCTION OF NAVIGABLE WATERWAYS (DEC 1991)

L1:(a) The Contractor shall?

L1:(1) Promptly recover and remove any material, plant, machinery, or appliance which the contractor loses, dumps, throws

L0:overboard, sinks, or misplaces, and which, in the opinion of the Contracting Officer, may be dangerous to or obstruct L0:navigation;

L1:(2) Give immediate notice, with description and locations of any such obstructions, to the Contracting Officer; and

L1:(3) When required by the Contracting Officer, mark or buoy such obstructions until the same are removed.

L1:(b) The Contracting Officer may?

L1:(1) Remove the obstructions by contract or otherwise should the Contractor refuse, neglect, or delay compliance with

L0:paragraph (a) of this clause; and

L1:(2) Deduct the cost of removal from any monies due or to become due to the Contractor; or

L1:(3) Recover the cost of removal under the Contractor's bond.

L1:(c) The Contractor's liability for the removal of a vessel wrecked or sunk without fault or negligence is limited to that

L0:provided in Sections 15, 19, and 20 of the River and Harbor Act of March 3, 1899 (33 U.S.C. 410 et. seq.).

L0:(End of clause)

252.236-7003 Payment for Mobilization and Preparatory Work

Status: active

L0:252.236-7003 Payment for Mobilization and Preparatory Work.

L0:As prescribed in 236.570 (b)(2), use the following clause:

L0:PAYMENT FOR MOBILIZATION AND PREPARATORY WORK (JAN 1997)

L1:(a) The Government will make payment to the Contractor under the procedures in this clause for mobilization and

L0:preparatory work under item no. _____.

L1:(b) Payments will be made for actual payments by the Contractor on work preparatory to commencing actual work on the

L0:construction items for which payment is provided under the terms of this contract, as follows?

L1:(1) For construction plant and equipment exceeding \$25,000 in value per unit (as appraised by the Contracting Officer at

L0:the work site) acquired for the execution of the work;

L1:(2) Transportation of all plant and equipment to the site;

L1:(3) Material purchased for the prosecution of the contract, but not to be incorporated in the work;

L1:(4) Construction of access roads or railroads, camps, trailer courts, mess halls, dormitories or living quarters, field

L0:headquarters facilities, and construction yards;

L1:(5) Personal services; and

L1:(6) Hire of plant.

L1:(c) Requests for payment must include?

L1:(1) An account of the Contractor's actual expenditures;

L1:(2) Supporting documentation, including receipted bills or copies of payrolls and freight bills; and

L1:(3) The Contractor's documentation?

L1:(i) Showing that it has acquired the construction plant, equipment, and material free from all encumbrances;

L1:(ii) Agreeing that the construction plant, equipment, and material will not be removed from the site without the written

L0:permission of the Contracting Officer; and

L1:(iii) Agreeing that structures and facilities prepared or erected for the prosecution of the contract work will be maintained

L0:and not dismantled prior to the completion and acceptance of the entire work, without the written permission of the

L0:Contracting Officer.

L1:(d) Upon receiving a request for payment, the Government will make payment, less any prescribed retained percentage, if

L0:?

L1:(1) The Contracting Officer finds the?

L1:(i) Construction plant, material, equipment, and the mobilization and preparatory work performed are suitable and

L0:necessary to the efficient prosecution of the contract; and

L1:(ii) Preparatory work has been done with proper economy and efficiency.

L1:(2) Payments for construction plant, equipment, material, and structures and facilities prepared or erected for prosecution

L0:of the contract work do not exceed?

L1:(i) The Contractor's cost for the work performed less the estimated value upon completion of the contract; and

L1:(ii) 100 percent of the cost to the contractor of any items having no appreciable salvage value; and

L1:(iii) 75 percent of the cost to the contractor of items which do have an appreciable salvage value.

L1:(e)(1) Payments will continue to be made for item no. _____, and all payments will be deducted from the

L0:contract price for this item, until the total deductions reduce this item to zero, after which no further payments will be made

L0:under this item.

L1:(2) If the total of payments so made does not reduce this item to zero, the balance will be paid to the Contractor in the final

L0:payment under the contract.

L1:(3) The retained percentage will be paid in accordance with the Payments to Contractor clause of this contract.

L1:(f) The Contracting Officer shall determine the value and suitability of the construction plant, equipment, materials,

L0:structures and facilities. The Contracting Officer's determinations are not subject to appeal.

L0:(End of clause)

252.236-7004 Payment for Mobilization and Demobilization

Status: active

L0:252.236-7004 Payment for Mobilization and Demobilization.

L0:As prescribed in 236.570 (b)(2), use the following clause:

L0:PAYMENT FOR MOBILIZATION AND DEMOBILIZATION (DEC 1991)

L1:(a) The Government will pay all costs for the mobilization and demobilization of all of the Contractor's plant and equipment at the contract lump sum price for this item.

L1:(1) _____ percent of the lump sum price upon completion of the contractor's mobilization at the work site.

L1:(2) The remaining _____ percent upon completion of demobilization.

L1:(b) The Contracting Officer may require the Contractor to furnish cost data to justify this portion of the bid if the

L0:Contracting Officer believes that the percentages in paragraphs (a)(1) and (2) of this clause do not bear a reasonable

L0:relation to the cost of the work in this contract.

L1:(1) Failure to justify such price to the satisfaction of the Contracting Officer will result in payment, as determined by the

L0:Contracting Officer, of?

L1:(i) Actual mobilization costs at completion of mobilization;

L1:(ii) Actual demobilization costs at completion of demobilization; and

L1:(iii) The remainder of this item in the final payment under this contract.

L1:(2) The Contracting Officer's determination of the actual costs in paragraph (b)(1) of this clause is not subject to appeal.

L0:(End of clause)

252.236-7005 Airfield Safety Precautions

Status: active

L0:252.236-7005 Airfield Safety Precautions.

L0:As prescribed in 236.570 (b)(3), use the following clause. At some airfields, the width of the primary surface is 1,500 feet

L0:(750 feet on each side of the runway centerline). In such instances, substitute the proper width in the clause.

L0:AIRFIELD SAFETY PRECAUTIONS (DEC 1991)

L1:(a) Definitions. As used in this clause?

L1:(1) ?Landing areas? means?

L1:(i) The primary surfaces, comprising the surface of the runway, runway shoulders, and lateral safety zones. The length of

L0:each primary surface is the same as the runway length. The width of each primary surface is 2,000 feet (1,000 feet on each

L0:side of the runway centerline);

L1:(ii) The ?clear zone? beyond the ends of each runway, i.e., the extension of the primary surface for a distance of 1,000 feet

L0:beyond each end of each runway;

L1:(iii) All taxiways, plus the lateral clearance zones along each side for the length of the taxiways (the outer edge of each

L0:lateral clearance zone is laterally 250 feet from the far or opposite edge of the taxiway, e.g., a 75-foot-wide taxiway would

L0:have a combined width of taxiway and lateral clearance zones of 425 feet); and

L1:(iv) All aircraft parking aprons, plus the area 125 feet in width extending beyond each edge all around the aprons.

L1:(2) ?Safety precaution areas? means those portions of approach-departure clearance zones and transitional zones where

L0:placement of objects incident to contract performance might result in vertical projections at or above the approach-departure clearance, or the transitional surface.

L1:(i) The ?approach-departure clearance surface? is an extension of the primary surface and the clear zone at each end of

L0:each runway, for a distance of 50,000 feet, first along an inclined (glide angle) and then along a horizontal plane, both

L0:flaring symmetrically about the runway centerline extended.

L1:(A) The inclined plane (glide angle) begins in the clear zone 200 feet past the end of the runway (and primary surface) at

L0:the same elevation as the end of the runway. It continues upward at a slope of 50:1 (1 foot vertically for each 50 feet

L0:horizontally) to an elevation of 500 feet above the established airfield elevation. At that point the plane becomes horizontal,

L0:continuing at that same uniform elevation to a point 50,000 feet longitudinally from the beginning of the inclined plane

L0:(glide angle) and ending there.

L1:(B) The width of the surface at the beginning of the inclined plane (glide angle) is the same as the width of the clear zone.

L0:It then flares uniformly, reaching the maximum width of 16,000 feet at the end.

L1:(ii) The ?approach-departure clearance zone? is the ground area under the approach-departure clearance surface.

L1:(iii) The ?transitional surface? is a sideways extension of all primary surfaces, clear zones, and approach-departure

L0:clearance surfaces along inclined planes.

L1:(A) The inclined plane in each case begins at the edge of the surface.

L1:(B) The slope of the incline plane is 7:1 (1 foot vertically for each 7 feet horizontally). It continues to the point of

L0:intersection with the?

L1:(1) Inner horizontal surface (which is the horizontal plane 150 feet above the established airfield elevation); or

L1:(2) Outer horizontal surface (which is the horizontal plane 500 feet above the established airfield elevation), whichever is

L0:applicable.

L1:(iv) The ?transitional zone? is the ground area under the transitional surface. (It adjoins the primary surface, clear zone, and

L0:approach-departure clearance zone.)

L1:(b) General.

L1:(1) The Contractor shall comply with the requirements of this clause while?

L1:(i) Operating all ground equipment (mobile or stationary);

L1:(ii) Placing all materials; and

L1:(iii) Performing all work, upon and around all airfields.

L1:(2) The requirements of this clause are in addition to any other safety requirements of this contract.

L1:(c) The Contractor shall?

L1:(1) Report to the Contracting Officer before initiating any work;

L1:(2) Notify the Contracting Officer of proposed changes to locations and operations;

L1:(3) Not permit either its equipment or personnel to use any runway for purposes other than aircraft operation without L0:permission of the Contracting Officer, unless the runway is?

L1:(i) Closed by order of the Contracting Officer; and

L1:(ii) Marked as provided in paragraph (d)(2) of this clause;

L1:(4) Keep all paved surfaces, such as runways, taxiways, and hardstands, clean at all times and, specifically, free from small

L0:stones which might damage aircraft propellers or jet aircraft;

L1:(5) Operate mobile equipment according to the safety provisions of this clause, while actually performing work on the L0:airfield. At all other times, the Contractor shall remove all mobile equipment to locations?

L1:(i) Approved by the Contracting Officer;

L1:(ii) At a distance of at least 750 feet from the runway centerline, plus any additional distance; and

L1:(iii) Necessary to ensure compliance with the other provisions of this clause; and

L1:(6) Not open a trench unless material is on hand and ready for placing in the trench. As soon as practicable after material

L0:has been placed and work approved, the Contractor shall backfill and compact trenches as required by the contract.

L0:Meanwhile, all hazardous conditions shall be marked and lighted in accordance with the other provisions of this clause.

L1:(d) Landing areas. The Contractor shall?

L1:(1) Place nothing upon the landing areas without the authorization of the Contracting Officer;

L1:(2) Outline those landing areas hazardous to aircraft, using (unless otherwise authorized by the Contracting Officer) red

L0:flags by day, and electric, battery-operated low-intensity red flasher lights by night;

L1:(3) Obtain, at an airfield where flying is controlled, additional permission from the control tower operator every time

L0:before entering any landing area, unless the landing area is marked as hazardous in accordance with paragraph (d)(2) of

L0:this clause;

L1:(4) Identify all vehicles it operates in landing areas by means of a flag on a staff attached to, and flying above, the vehicle.

L0:The flag shall be three feet square, and consist of a checkered pattern of international orange and white squares of 1 foot on

L0:each side (except that the flag may vary up to ten percent from each of these dimensions);

L1:(5) Mark all other equipment and materials in the landing areas, using the same marking devices as in paragraph (d)(2) of

L0:this clause; and

L1:(6) Perform work so as to leave that portion of the landing area which is available to aircraft free from hazards, holes, piles

L0:of material, and projecting shoulders that might damage an airplane tire.

L1:(e) Safety precaution areas. The Contractor shall?

L1:(1) Place nothing upon the safety precaution areas without authorization of the Contracting Officer;

L1:(2) Mark all equipment and materials in safety precaution areas, using (unless otherwise authorized by the Contracting

L0:Officer) red flags by day, and electric, battery-operated, low-intensity red flasher lights by night; and

L1:(3) Provide all objects placed in safety precaution areas with a red light or red lantern at night, if the objects project above

L0:the approach-departure clearance surface or above the transitional surface.

L0:(End of clause)

252.236-7006 Cost Limitation

Status: active

L0:252.236-7006 Cost Limitation.

L0:As prescribed in 236.570 (b)(4), use the following provision:

L0:COST LIMITATION (JAN 1997)

L1:(a) Certain items in this solicitation are subject to statutory cost limitations. The limitations are stated in the Schedule.

L1:(b) An offer which does not state separate prices for the items identified in the Schedule as subject to a cost limitation may

L0:be considered nonresponsive.

L1:(c) Prices stated in offers for items subject to cost limitations shall include an appropriate apportionment of all costs, direct

L0:and indirect, overhead, and profit.

L1:(d) Offers may be rejected which?

L1:(1) Are materially unbalanced for the purpose of bringing items within cost limitations; or

L1:(2) Exceed the cost limitations, unless the limitations have been waived by the Government prior to award.

L0:(End of provision)

252.236-7007 Additive or Deductive Items

Status: active

L0:252.236-7007 Additive or Deductive Items.

L0:As prescribed in 236.570 (b)(5), use the following provision:

L0:ADDITIVE OR DEDUCTIVE ITEMS (DEC 1991)

L1:(a) The low offeror and the items to be awarded shall be determined as follows?

L1:(1) Prior to the opening of bids, the Government will determine the amount of funds available for the project.

L1:(2) The low offeror shall be the Offeror that?

L1:(i) Is otherwise eligible for award; and

L1:(ii) Offers the lowest aggregate amount for the first or base bid item, plus or minus (in the order stated in the list of L0:priorities in the bid schedule) those additive or deductive items that provide the most features within the funds determined

L0:available.

L1:(3) The Contracting Officer shall evaluate all bids on the basis of the same additive or deductive items.

L1:(i) If adding another item from the bid schedule list of priorities would make the award exceed the available funds for all

L0:offerors, the Contracting Officer will skip that item and go to the next item from the bid schedule of priorities; and

L1:(ii) Add that next item if an award may be made that includes that item and is within the available funds.

L1:(b) The Contracting Officer will use the list of priorities in the bid schedule only to determine the low offeror. After

L0:determining the low offeror, an award may be made on any combination of items if?

L1:(1) It is in the best interest of the Government;

L1:(2) Funds are available at the time of award; and

L1:(3) The low offeror's price for the combination to be awarded is less than the price offered by any other responsive,
L0:responsible offeror.

L1:(c) Example. The amount available is \$100,000. Offeror A's base bid and four additives (in the order stated in the list
of

L0:priorities in the bid Schedule) are \$85,000, \$10,000, \$8,000, \$6,000, and \$4,000. Offeror B's base bid and four
additives

L0:are \$80,000, \$16,000, \$9,000, \$7,000, and \$4,000. Offeror A is the low offeror. The aggregate amount of offeror A's
bid for

L0:purposes of award would be \$99,000, which includes a base bid plus the first and fourth additives. The second and
third

L0:additives were skipped because each of them would cause the aggregate bid to exceed \$100,000.

L0:(End of provision)

252.236-7008 Contract Prices?Bidding Schedules

Status: active

L0:252.236-7008 Contract Prices?Bidding Schedules.

L0:As prescribed in 236.570 (b)(6), use the following provision:

L0:CONTRACT PRICES?BIDDING SCHEDULES (DEC 1991)

L1:(a) The Government's payment for the items listed in the Bidding Schedule shall constitute full compensation to the
L0:Contractor for?

L1:(1) Furnishing all plant, labor, equipment, appliances, and materials; and

L1:(2) Performing all operations required to complete the work in conformity with the drawings and specifications.

L1:(b) The Contractor shall include in the prices for the items listed in the Bidding Schedule all costs for work in the
L0:specifications, whether or not specifically listed in the Bidding Schedule.

L0:(End of provision)

252.236-7010 Overseas Military Construction?Preference for United States Firms

Status: active

L0:252.236-7010 Overseas Military Construction?Preference for United States Firms.

L0:As prescribed in 236.570 (c)(1), use the following provision:

L0:OVERSEAS MILITARY CONSTRUCTION?PREFERENCE FOR UNITED STATES FIRMS (JAN 1997)

L1:(a) Definition. ?United States firm,? as used in this provision, means a firm incorporated in the United States that
complies

L0:with the following:

L1:(1) The corporate headquarters are in the United States;

L1:(2) The firm has filed corporate and employment tax returns in the United States for a minimum of 2 years (if
required),

L0:has filed State and Federal income tax returns (if required) for 2 years, and has paid any taxes due as a result of
these

L0:filings; and

L1:(3) The firm employs United States citizens in key management positions.

L1:(b) Evaluation. Offers from firms that do not qualify as United States firms will be evaluated by adding 20 percent to the

L0:offer.

L1:(c) Status. The offeror _____ is, _____ is not a United States firm.

L0:(End of provision)

252.236-7011 Overseas Architect-Engineer Services?Restriction to United States Firms

Status: active

L0:252.236-7011 Overseas Architect-Engineer Services?Restriction to United States Firms.

L0:As prescribed in 236.609-70 , use the following provision:

L0:OVERSEAS ARCHITECT-ENGINEER SERVICES?RESTRICTION TO UNITED STATES FIRMS (JAN 1997)

L1:(a) Definition. ?United States firm,? as used in this provision, means a firm incorporated in the United States that complies

L0:with the following:

L1:(1) The corporate headquarters are in the United States;

L1:(2) The firm has filed corporate and employment tax returns in the United States for a minimum of 2 years (if required),

L0:has filed State and Federal income tax returns (if required) for 2 years, and has paid any taxes due as a result of these

L0:filings; and

L1:(3) The firm employs United States citizens in key management positions.

L1:(b) Restriction. Military construction appropriations acts restrict award of a contract, resulting from this solicitation, to a

L0:United States firm or a joint venture of United States and host nation firms.

L1:(c) Status. The offeror confirms, by submission of its offer, that it is a United States firm or a joint venture of United States

L0:and host nation firms.

L0:(End of provision)

252.236-7012 Military Construction on Kwajalein Atoll?Evaluation Preference

Status: active

L0:252.236-7012 Military Construction on Kwajalein Atoll?Evaluation Preference.

L0:As prescribed in 236.570 (c)(2), use the following provision:

L0:MILITARY CONSTRUCTION ON KWAJALEIN ATOLL?EVALUATION PREFERENCE (MAR 1998)

L1:(a) Definitions. As used in this provision?

L1:(1) ?Marshallese firm? means a local firm incorporated in the Marshall Islands, or otherwise legally organized under the

L0:laws of the Marshall Islands, that?

L1:(i) Is more than 50 percent owned by citizens of the Marshall Islands; or

L1:(ii) Complies with the following:

L1:(A) The firm has done business in the Marshall Islands on a continuing basis for not less than 3 years prior to the date of

L0:issuance of this solicitation;

L1:(B) Substantially all of the firm's directors of local operations, senior staff, and operating personnel are resident in the

L0:Marshall Islands or are U.S. citizens; and

L1:(C) Most of the operating equipment and physical plant are in the Marshall Islands.

L1:(2) "United States firm" means a firm incorporated in the United States that complies with the following:

L1:(i) The corporate headquarters are in the United States;

L1:(ii) The firm has filed corporate and employment tax returns in the United States for a minimum of 2 years (if required),

L0:has filed State and Federal income tax returns (if required) for 2 years, and has paid any taxes due as a result of these

L0:filings; and

L1:(iii) The firm employs United States citizens in key management positions.

L1:(b) Evaluation. Offers from firms that do not qualify as United States firms or Marshallese firms will be evaluated by

L0:adding 20 percent to the offer, unless application of the factor would not result in award to a United States firm.

L1:(c) Status. The offeror is _____ a United States firm; _____ a Marshallese firm; _____ Other.

L0:(End of provision)

252.236-7013 Requirement for Competition Opportunity for American Steel Producers, Fabricators, and

Status: active

L0:252.236-7013 Requirement for Competition Opportunity for American Steel Producers, Fabricators, and

L0:Manufacturers.

L0:As prescribed in 236.570 (d), use the following clause:

L0:REQUIREMENT FOR COMPETITION OPPORTUNITY FOR AMERICAN STEEL PRODUCERS, FABRICATORS, **L0:AND MANUFACTURERS (JAN 2023)**

L1:(a) Definition. "Construction material," as used in this clause, means an article, material, or supply brought to the L0:construction site by the Contractor or a subcontractor for incorporation into the building or work.

L1:(b) The Contractor shall provide American steel producers, fabricators, and manufacturers the opportunity to compete

L0:when acquiring steel as a construction material (e.g., steel beams, rods, cables, plates).

L1:(c) The Contractor shall insert the substance of this clause, including this paragraph (c), in any subcontract that involves the

L0:acquisition of steel as a construction material, including subcontracts for the acquisition of commercial products.

L0:(End of clause)

252.237-7000 Notice of Special Standards of Responsibility

Status: active

L0:252.237-7000 Notice of Special Standards of Responsibility.

L0:As prescribed in 237.270 (e)(1), use the following provision:

L0:NOTICE OF SPECIAL STANDARDS OF RESPONSIBILITY (DEC 1991)

L1:(a) To be determined responsible, the Offeror must meet the general standards of responsibility set forth at FAR 9.104-1

L0:and the following criteria, as described in Chapter 3, General Standards, of ?Government Auditing Standards.?

L1:(1) Qualifications;

L1:(2) Independence; and

L1:(3) Quality Control.

L1:(b) ?Government Auditing Standards? is issued by the Comptroller General of the United States and is available for sale

L0:from the:

L0:Superintendent of Documents

L0:U.S. Government Printing Office

L0:Washington, DC 20401

L0:Stock number 020-000-00243-3.

L1:(c) The apparently successful Offeror, before award, shall give the Contracting Officer evidence that it is licensed by the

L0:cognizant licensing authority in the state or other political jurisdiction where the Offeror operates its professional practice.

L0:(End of provision)

252.237-7001 Compliance with Audit Standards

Status: active

L0:252.237-7001 Compliance with Audit Standards.

L0:As prescribed in 237.270 (e)(2), use the following clause:

L0:COMPLIANCE WITH AUDIT STANDARDS (MAY 2000)

L0:The Contractor, in performance of all audit services under this contract, shall comply with ?Government Auditing

L0:Standards? issued by the Comptroller General of the United States.

L0:(End of clause)

252.237-7003 Requirements

Status: active

L0:252.237-7003 Requirements.

L0:As prescribed in 237.7003 (a) and (a)(1), use the following clause:

L0:REQUIREMENTS (DEC 1991)

L1:(a) Except as provided in paragraphs (c) and (d) of this clause, the Government will order from the Contractor all of its

L0:requirements in the area of performance for the supplies and services listed in the schedule of this contract.

L1:(b) Each order will be issued as a delivery order and will list?

L1:(1) The supplies or services being ordered;

L1:(2) The quantities to be furnished;

L1:(3) Delivery or performance dates;

L1:(4) Place of delivery or performance;

L1:(5) Packing and shipping instructions;

L1:(6) The address to send invoices; and

L1:(7) The funds from which payment will be made.

L1:(c) The Government may elect not to order supplies and services under this contract in instances where the body is removed from the area for medical, scientific, or other reason.

L1:(d) In an epidemic or other emergency, the contracting activity may obtain services beyond the capacity of the Contractor's

L0:facilities from other sources.

L1:(e) Contracting Officers of the following activities may order services and supplies under this contract?

L0:(End of clause)

252.237-7004 Area of Performance

Status: active

L0:252.237-7004 Area of Performance.

L0:As prescribed in 237.7003 (a) and (a)(2), use the following clause:

L0:AREA OF PERFORMANCE (DEC 1991)

L1:(a) The area of performance is as specified in the contract.

L1:(b) The Contractor shall take possession of the remains at the place where they are located, transport them to the Contractor's place of preparation, and later transport them to a place designated by the Contracting Officer.

L1:(c) The Contractor will not be reimbursed for transportation when both the place where the remains were located and the

L0:delivery point are within the area of performance.

L1:(d) If remains are located outside the area of performance, the Contracting Officer may place an order with the Contractor

L0:under this contract or may obtain the services elsewhere. If the Contracting Officer requires the Contractor to transport the

L0:remains into the area of performance, the Contractor shall be paid the amount per mile in the schedule for the number of

L0:miles required to transport the remains by a reasonable route from the point where located to the boundary of the area of

L0:performance.

L1:(e) The Contracting Officer may require the Contractor to deliver remains to any point within 100 miles of the area of performance. In this case, the Contractor shall be paid the amount per mile in the schedule for the number of miles required

L0:to transport the remains by a reasonable route from the boundary of the area of performance to the delivery point.

L0:(End of clause)

252.237-7005 Performance and Delivery

Status: active

L0:252.237-7005 Performance and Delivery.

L0:As prescribed in 237.7003 (a) and (a)(3), use the following clause:

L0:PERFORMANCE AND DELIVERY (DEC 1991)

L1:(a) The Contractor shall furnish the material ordered and perform the services specified as promptly as possible but not

L0:later than 36 hours after receiving notification to remove the remains, excluding the time necessary for the Government to

L0:inspect and check results of preparation.

L1:(b) The Government may, at no additional charge, require the Contractor to hold the remains for an additional period not to

L0:exceed 72 hours from the time the remains are casketed and final inspection completed.

L0:(End of clause)

252.237-7006 Subcontracting

Status: active

L0:252.237-7006 Subcontracting.

L0:As prescribed in 237.7003 (a) and (a)(4), use the following clause:

L0:SUBCONTRACTING (DEC 1991)

L0:The Contractor shall not subcontract any work under this contract without the Contracting Officer's written approval. This

L0:clause does not apply to contracts of employment between the Contractor and its personnel.

L0:(End of clause)

252.237-7007 Termination for Default

Status: active

L0:252.237-7007 Termination for Default.

L0:As prescribed in 237.7003 (a) and (a)(5), use the following clause:

L0:TERMINATION FOR DEFAULT (DEC 1991)

L1:(a) This clause supplements and is in addition to the Default clause of this contract.

L1:(b) The Contracting Officer may terminate this contract for default by written notice without the ten day notice required by

L0:paragraph (a)(2) of the Default clause if?

L1:(1) The Contractor, through circumstances reasonably within its control or that of its employees, performs any act under or

L0:in connection with this contract, or fails in the performance of any service under this contract and the act or failures may

L0:reasonably be considered to reflect discredit upon the Department of Defense in fulfilling its responsibility for proper care

L0:of remains;

L1:(2) The Contractor, or its employees, solicits relatives or friends of the deceased to purchase supplies or services not under

L0:this contract. (The Contractor may furnish supplies or arrange for services not under this contract, only if representatives of

L0:the deceased voluntarily request, select, and pay for them.);

L1:(3) The services or any part of the services are performed by anyone other than the Contractor or the Contractor's

L0:employees without the written authorization of the Contracting Officer;

L1:(4) The Contractor refuses to perform the services required for any particular remains; or

L1:(5) The Contractor mentions or otherwise uses this contract in its advertising in any way.

L0:(End of clause)

252.237-7008 Group Interment

Status: active

L0:252.237-7008 Group Interment.

L0:As prescribed in 237.7003 (a) and (a)(6), use the following clause:

L0:GROUP INTERMENT (DEC 1991)

L0:The Government will pay the Contractor for supplies and services provided for remains interred as a group on the basis of

L0:the number of caskets furnished, rather than on the basis of the number of persons in the group.

L0:(End of clause)

252.237-7009 Permits

Status: active

L0:252.237-7009 Permits.

L0:As prescribed in 237.7003 (a) and (a) (7), use the following clause:

L0:PERMITS (DEC 1991)

L0:The Contractor shall meet all State and local licensing requirements and obtain and furnish all necessary health department

L0:and shipping permits at no additional cost to the Government. The Contractor shall ensure that all necessary health

L0:department permits are in order for disposition of the remains.

L0:(End of clause)

252.237-7010 Prohibition on Interrogation of Detainees by Contractor Personnel

Status: active

L0:252.237-7010 Prohibition on Interrogation of Detainees by Contractor Personnel.

L0:As prescribed in 237.173-5 , use the following clause:

L0:PROHIBITION ON INTERROGATION OF DETAINEES BY CONTRACTOR PERSONNEL (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Detainee? means any person captured, detained, held, or otherwise under the effective control of DoD personnel (military

L0:or civilian) in connection with hostilities. This includes, but is not limited to, enemy prisoners of war, civilian internees,

L0:and retained personnel. This does not include DoD personnel or DoD contractor personnel being held for law enforcement

L0:purposes.

L0:Interrogation of detainees? means a systematic process of formally and officially questioning a detainee for the purpose of

L0:obtaining reliable information to satisfy foreign intelligence collection requirements.

L1:(b) Contractor personnel shall not interrogate detainees.

L1:(c) Subcontracts. The Contractor shall include the substance of this clause,

L0:including this paragraph (c), in all subcontracts, including subcontracts for commercial products, that may require

L0:subcontractor personnel to interact with detainees in the course of their duties.

L0:(End of clause)

252.237-7011 Preparation History

Status: active

L0:252.237-7011 Preparation History.

L0:As prescribed in 237.7003 (a) and (a)(8), use the following clause:

L0:PREPARATION HISTORY (DEC 1991)

L0:For each body prepared, or for each casket handled in a group interment, the Contractor shall state briefly the results of the

L0:embalming process on a certificate furnished by the Contracting Officer.

L0:(End of clause)

252.237-7012 Instruction to Offerors (Count-of-Articles)

Status: active

L0:252.237-7012 Instruction to Offerors (Count-of-Articles).

L0:As prescribed in 237.7101 (a), use the following provision:

L0:INSTRUCTION TO OFFERORS (COUNT-OF-ARTICLES) (DEC 1991)

L1:(a) The Offeror shall include unit prices for each item in a lot. Unit prices shall include all costs to the Government of L0:providing the services, including pickup and delivery charges.

L1:(b) Failure to offer on any item in a lot shall be cause for rejection of the offer on that lot. The Contracting Officer will L0:evaluate offers based on the estimated quantities in the solicitation.

L1:(c) Award generally will be made to a single offeror for all lots. However, the Contracting Officer may award by individual

L0:lot when it is more advantageous to the Government.

L1:(d) Prospective offerors may inspect the types of articles to be serviced. Contact the Contracting Officer to make inspection

L0:arrangements.

L0:(End of provision)

252.237-7013 Instruction to Offerors (Bulk Weight)

L0:252.237-7013 Instruction to Offerors (Bulk Weight).

L0:As prescribed in 237.7101 (b), use the following provision:

L0:INSTRUCTION TO OFFERORS (BULK WEIGHT) (DEC 1991)

L1:(a) Offers shall be submitted on a unit price per pound of serviced laundry. Unit prices shall include all costs to the

L0:Government of providing the service, including pickup and delivery charges.

L1:(b) The Contracting Officer will evaluate bids based on the estimated pounds of serviced laundry stated in the solicitation.

L1:(c) Award generally will be made to a single offeror for all lots. However, the Contracting Officer may award by individual

L0:lot when it is more advantageous to the Government.

L1:(d) Prospective offerors may inspect the types of articles to be serviced. Contact the Contracting Officer to make inspection

L0:arrangements.

L0:(End of provision)

252.237-7014 Loss or Damage (Count-of-Articles)

L0:252.237-7014 Loss or Damage (Count-of-Articles).

L0:As prescribed in 237.7101 (c), use the following clause:

L0:LOSS OR DAMAGE (COUNT-OF-ARTICLES) (DEC 1991)

L1:(a) The count-of-articles will be?

L1:(1) The count of the Contracting Officer; or

L1:(2) The count agreed upon as a result of a joint count by the Contractor and the Contracting Officer at the time of delivery

L0:to the Contractor.

L1:(b) The Contractor shall?

L1:(1) Be liable for return of the number and kind of articles furnished for service under this contract; and

L1:(2) Shall indemnify the Government for any loss or damage to such articles.

L1:(c) The Contractor shall pay to the Government the value of any lost or damaged property using Federal supply schedule

L0:price lists. If the property is not on these price lists, the Contracting Officer shall determine a fair and reasonable price.

L1:(d) The Contracting Officer will allow credit for any depreciation in the value of the property at the time of loss or damage.

L0:The Contracting Officer and the Contractor shall mutually determine the amount of the allowable credit.

L1:(e) Failure to agree upon the value of the property or on the amount of credit due will be treated as a dispute under the

L0:Disputes clause of this contract.

L1:(f) In case of damage to any property that the Contracting Officer and the Contractor agree can be satisfactorily repaired,

L0:the Contractor may repair the property at its expense in a manner satisfactory to the Contracting Officer, rather than

make

L0:payment under paragraph (c) of this clause.

L0:(End of clause)

252.237-7015 Loss or Damage (Weight of Articles)

Status: active

L0:252.237-7015 Loss or Damage (Weight of Articles).

L0:As prescribed in 237.7101 (d), use the following clause:

L0:LOSS OR DAMAGE (WEIGHT OF ARTICLES) (DEC 1991)

L1:(a) The Contractor shall?

L1:(1) Be liable for return of the articles furnished for service under this contract; and

L1:(2) Indemnify the Government for any articles delivered to the Contractor for servicing under this contract that are lost or

L0:damaged, and in the opinion of the Contracting Officer, cannot be repaired satisfactorily.

L1:(b) The Contractor shall pay to the Government _____ per pound for lost or damaged articles. The Contractor shall

L0:pay the Government only for losses which exceed the maximum weight loss in paragraph (e) of this clause.

L1:(c) Failure to agree on the amount of credit due will be treated as a dispute under the Disputes clause of this contract.

L1:(d) In the case of damage to any articles that the Contracting Officer and the Contractor agree can be satisfactorily repaired,

L0:the Contractor shall repair the articles at its expense in a manner satisfactory to the Contracting Officer.

L1:(e) The maximum weight loss allowable in servicing the laundry is _____ percent of the weight recorded on delivery

L0:tickets when the laundry is picked up. Any weight loss in excess of this amount shall be subject to the loss provisions of

L0:this clause.

L0:(End of clause)

252.237-7016 Delivery Tickets

Status: active

L0:252.237-7016 Delivery Tickets.

L0:Basic. As prescribed in 237.7101 (e) and (e)(1), use the following clause:

L0:DELIVERY TICKETS?BASIC (NOV 2014)

L1:(a) The Contractor shall complete delivery tickets in the number of copies required and in the form approved by the

L0:Contracting Officer, when it receives the articles to be serviced.

L1:(b) The Contractor shall include one copy of each delivery ticket with its invoice for payment.

L0:(End of clause)

L0:Alternate I. As prescribed in 237.7101 (e) and (e)(2), use the following clause, which includes paragraphs (c), (d), and (e)

L0:not included in the basic clause:

L0:DELIVERY TICKETS?ALTERNATE I (NOV 2014)

L1:(a) The Contractor shall complete delivery tickets in the number of copies required and in the form approved by the L0:Contracting Officer, when it receives the articles to be serviced.

L1:(b) The Contractor shall include one copy of each delivery ticket with its invoice for payment.

L1:(c) Before the Contractor picks up articles for service under this contract, the Contracting Officer will ensure that?

L1:(1) Each bag contains only articles within a single bag type as specified in the schedule; and

L1:(2) Each bag is weighed and the weight and bag type are identified on the bag.

L1:(d) The Contractor shall, at time of pickup?

L1:(1) Verify the weight and bag type and record them on the delivery ticket; and

L1:(2) Provide the Contracting Officer, or representative, a copy of the delivery ticket.

L1:(e) At the time of delivery, the Contractor shall record the weight and bag type of serviced laundry on the delivery ticket.

L0:The Contracting Officer will ensure that this weight and bag type are verified at time of delivery.

L0:(End of clause)

L0:Alternate II. As prescribed in 237.7101 (e) and (e)(3), use the following clause, which includes paragraphs (c), (d), and (e)

L0:not included in the basic clause:

L0:DELIVERY TICKETS?ALTERNATE II (NOV 2014)

L1:(a) The Contractor shall complete delivery tickets in the number of copies required and in the form approved by the L0:Contracting Officer, when it receives the articles to be serviced.

L1:(b) The Contractor shall include one copy of each delivery ticket with its invoice for payment.

L1:(c) Before the Contractor picks up articles for service under this contract, the Contracting Officer will ensure that each bag

L0:is weighed and that the weight is identified on the bag.

L1:(d) The Contractor, at time of pickup, shall verify and record the weight on the delivery ticket and shall provide the L0:Contracting Officer, or representative, a copy of the delivery ticket.

L1:(e) At the time of delivery, the Contractor shall record the weight of serviced laundry on the delivery ticket. The L0:Contracting Officer will ensure that this weight is verified at time of delivery.

L0:(End of clause)

252.237-7017 Individual Laundry

Status: active

L0:252.237-7017 Individual Laundry.

L0:As prescribed in 237.7101 (f), use the following clause:

L0:INDIVIDUAL LAUNDRY (DEC 1991)

L1:(a) The Contractor shall provide laundry service under this contract on both a unit bundle and on a piece-rate bundle basis

L0:for individual personnel.

L1:(b) The total number of pieces listed in the ?Estimated Quantity? column in the schedule is the estimated amount of L0:individual laundry for this contract. The estimate is for information only and is not a representation of the amount of L0:individual laundry to be ordered. Individuals may elect whether or not to use the laundry services.

L1:(c) Charges for individual laundry will be on a per unit bundle or a piece-rate basis. The Contractor shall provide individual

L0:laundry bundle delivery tickets for use by the individuals in designating whether the laundry is a unit bundle or a

piece-rate

L0:bundle. An individual laundry bundle will be accompanied by a delivery ticket listing the contents of the bundle.

L1:(d) The maximum number of pieces to be allowed per bundle is as specified in the schedule and as follows?

L1:(1) Bundle consisting of 26 pieces, including laundry bag. This bundle will contain approximately _____ pieces of outer

L0:garments which shall be starched and pressed. Outer garments include, but are not limited to, shirts, trousers, jackets,

L0:dresses, and coats.

L1:(2) Bundle consisting of 13 pieces, including laundry bag. This bundle will contain approximately _____ pieces of outer

L0:garments which shall be starched and pressed. Outer garments include, but are not limited to, shirts, trousers, jackets,

L0:dresses, and coats.

L0:(End of clause)

252.237-7018 Special Definitions of Government Property

Status: active

L0:252.237-7018 Special Definitions of Government Property.

L0:As prescribed in 237.7101 (g), use the following clause:

L0:SPECIAL DEFINITIONS OF GOVERNMENT PROPERTY (DEC 1991)

L0:Articles delivered to the Contractor to be laundered or dry-cleaned, including any articles which are actually owned by

L0:individual Government personnel, are Government-owned property, not Government-furnished property. Governmentowned property does not fall under the requirements of any Government-furnished property clause of this contract.

L0:(End of clause)

252.237-7019 Training for Contractor Personnel Interacting with Detainees

Status: active

L0:252.237-7019 Training for Contractor Personnel Interacting with Detainees.

L0:As prescribed in 237.171-4 , use the following clause:

L0:TRAINING FOR CONTRACTOR PERSONNEL INTERACTING WITH DETAINEES (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?"Combatant Commander?" means the commander of a unified or specified combatant command established in accordance

L0:with 10 U.S.C. 161.

L0:?"Detainee?" means a person in the custody or under the physical control of the Department of Defense on behalf of the

L0:United States Government as a result of armed conflict or other military operation by United States armed forces.

L0:?"Personnel interacting with detainees?" means personnel who, in the course of their duties, are expected to interact with

L0:detainees.

L1:(b) Training requirement. This clause implements Section 1092 of the National Defense Authorization Act for Fiscal Year

L0:2005 (Pub. L. 108-375).

L1:(1) The Combatant Commander responsible for the area where a detention or interrogation facility is located will arrange

L0:for training to be provided to contractor personnel interacting with detainees. The training will address the international

L0:obligations and laws of the United States applicable to the detention of personnel, including the Geneva Conventions. The

L0:Combatant Commander will arrange for a training receipt document to be provided to personnel who have completed the

L0:training.

L1:(2)(i) The Contractor shall arrange for its personnel interacting with detainees to?

L1:(A) Receive the training specified in paragraph (b)(1) of this clause?

L1:(1) Prior to interacting with detainees, or as soon as possible if, for compelling reasons, the Contracting Officer authorizes

L0:interaction with detainees prior to receipt of such training; and

L1:(2) Annually thereafter; and

L1:(B) Provide a copy of the training receipt document specified in paragraph (b)(1) of this clause to the Contractor for

L0:retention.

L1:(ii) To make these arrangements, the following points of contact apply:

L0:[Contracting Officer to insert applicable point of contact information cited in PGI 237.171-3 (b).]

L1:(3) The Contractor shall retain a copy of the training receipt document(s) provided in accordance with paragraphs (b)(1)

L0:and (2) of this clause until the contract is closed, or 3 years after all work required by the contract has been completed and

L0:accepted by the Government, whichever is sooner.

L1:(c) Subcontracts. The Contractor shall include the substance of this clause, including this paragraph (c), in all subcontracts,

L0:including subcontracts for commercial services, that may require subcontractor personnel to interact with detainees in the

L0:course of their duties.

L0:(End of clause)

252.237-7022 Services at Installations Being Closed

Status: active

L0:252.237-7022 Services at Installations Being Closed.

L0:As prescribed in 237.7402 , use the following clause:

L0:SERVICES AT INSTALLATIONS BEING CLOSED (MAY 1995)

L0:Professional employees shall be used by the local government to provide services under this contract to the extent that

L0:professionals are available in the area under the jurisdiction of such government.

L0:(End of clause)

252.237-7023 , Continuation of Essential Contractor Services, in this solicitation

Status: active

L0:252.237-7023 , Continuation of Essential Contractor Services, in this solicitation.

L1:(b) The offeror shall provide with its offer a written plan describing how it will continue to perform the essential contractor

L0:services listed in attachment ____, Mission Essential Contractor Services, dated _____, during periods of crisis.
The

L0:offeror shall-

L1:(1) Identify provisions made for the acquisition of essential personnel and resources, if necessary, for continuity of

L0:operations for up to 30 days or until normal operations can be resumed;

L1:(2) Address in the plan, at a minimum?

L1:(i) Challenges associated with maintaining essential contractor services during an extended event, such as a pandemic that

L0:occurs in repeated waves;

L1:(ii) The time lapse associated with the initiation of the acquisition of essential personnel and resources and their actual

L0:availability on site;

L1:(iii) The components, processes, and requirements for the identification, training, and preparedness of personnel who are

L0:capable of relocating to alternate facilities or performing work from home;

L1:(iv) Any established alert and notification procedures for mobilizing identified ?essential contractor service? personnel; and

L1:(v) The approach for communicating expectations to contractor employees regarding their roles and responsibilities during

L0:a crisis.

L0:(End of provision)

252.237-7024 Notice of Continuation of Essential Contractor Services

Status: active

L0:252.237-7024 Notice of Continuation of Essential Contractor Services.

L0:As prescribed in 237.7603(b), use the following provision:

L0:NOTICE OF CONTINUATION OF ESSENTIAL CONTRACTOR SERVICES (OCT 2010)

L1:(a) Definitions.?Essential contractor service? and ?mission-essential functions? have the meanings given in the clause at

252.237-7025 Preaward Transparency Requirements for Firms Offering to Support Department of Defense Audits

Status: active

L0:252.237-7025 Preaward Transparency Requirements for Firms Offering to Support Department of Defense Audits
L0:Representation and Disclosure.

L0:As prescribed in 237.270(e)(3), use the following provision:

L0:PREAWARD TRANSPARENCY REQUIREMENTS FOR FIRMS OFFERING TO SUPPORT DEPARTMENT OF
L0:DEFENSE AUDITS?REPRESENTATION AND DISCLOSURE (OCT 2022)

L1:(a) Representation. The Offeror represents that within the 3-year period preceding this offer, the Offeror and/or any of its

L0:principals or employees have [] have not [] been the subject of disciplinary proceedings before an entity with the authority

L0:to enforce compliance with rules or laws applying to audit services or audit remediation services offered by the Offeror,

L0:that?

L1:(1) Are not yet fully adjudicated or settled; or

L1:(2) Were fully adjudicated or settled against the Offeror and/or its principals or employees.

L1:(b) Disclosure. If the Offeror checked ?have? in the representation in paragraph (a) of this provision, the Offeror shall, at a

L0:minimum, disclose for each such proceeding?

L1:(1) The entity hearing the case;

L1:(2) The case or file number; and

L1:(3) The allegation or conduct at issue and, if fully adjudicated or settled, a brief description of the outcome.

L1:(c) Treatment of statements. The Government will safeguard and treat as confidential all statements provided pursuant to

L0:this provision where the statement has been marked ?confidential? or ?proprietary? by the Offeror. Statements so marked

L0:will not be released by the Government to the public pursuant to a request under the Freedom of Information Act, 5 U.S.C.

L0:552, without prior notification to the Offeror and opportunity for the Offeror to claim an exemption from release. The

L0:Government will treat any statement provided pursuant to this provision as confidential to the extent required by any other

L0:applicable law.

L0:(End of provision)

252.237-7026 Postaward Transparency Requirements for Firms that Support Department of Defense Audits

Status: active

L0:252.237-7026 Postaward Transparency Requirements for Firms that Support Department of Defense Audits.

L0:As prescribed in 237.270(e)(4), use the following clause:

L0:POSTAWARD TRANSPARENCY REQUIREMENTS FOR FIRMS THAT SUPPORT DEPARTMENT OF DEFENSE
L0:AUDITS (OCT 2022)

L1:(a) Prior to each contract action under this contract (including renewal or modification), the Contractor shall disclose the

L0:details of any disciplinary proceedings, with respect to the firm and/or its principals or employees, before an entity with the

L0:authority to enforce compliance with rules or laws applying to audit services or audit remediation services offered by the

L0:Contractor, and whether there has been any change with regard to previously reported proceedings since the last contract

L0:action.

L1:(b) The disclosure shall, at a minimum, include?

L1:(1) The entity hearing the case;

L1:(2) The case or file number; and

L1:(3) A brief description of the allegation or conduct at issue and, if fully adjudicated or settled, a brief description of the

L0:outcome.

L1:(c) The Government will safeguard and treat as confidential all statements provided pursuant to this clause where the

L0:statement has been marked "confidential" or "proprietary" by the Contractor. Statements so marked will not be released by

L0:the Government to the public pursuant to a request under the Freedom of Information Act, 5 U.S.C. 552, without prior

L0:notification to the Contractor and opportunity for the Contractor to claim an exemption from release. The Government will

L0:treat any statement provided pursuant to this clause as confidential to the extent required by any other applicable law.

L0:(End of clause)

252.237-7027 Transfer and Adoption of Military Animals

Status: active

L0:252.237-7027 Transfer and Adoption of Military Animals.

L0:As prescribed in 237.7804, use the following clause:

L0:TRANSFER AND ADOPTION OF MILITARY ANIMALS (FEB 2024)

L1:(a) Definition. As used in this clause?

L0:Contract working dog means a dog that?

L1:(1) Performs a service for DoD pursuant to a contract; and

L1:(2) Is trained and kenneled by an entity that provides such a dog pursuant to such a contract.

L1:(b) In accordance with 10 U.S.C. 2387, if the Contracting Officer determines that the service life of a contract working dog

L0:has terminated, the dog will be transferred to the Department of the Air Force, 341st Training Squadron, for veterinary

L0:screening and care, reclassification as a military animal, and placement for adoption in accordance with 10 U.S.C. 2583.

L1:(c) The service life of a contract working dog may be terminated if the Contracting Officer determines that?

L1:(1) The final contractual obligation of the dog preceding transfer is with DoD; and

L1:(2) The dog cannot be used by another department or agency of the Federal Government due to age, injury, or performance.

L0:(End of clause)

252.239-7000 Protection Against Compromising Emanations

Status: active

L0:252.239-7000 Protection Against Compromising Emanations.

L0:As prescribed in 239.7103 (a), use the following clause:

L0:PROTECTION AGAINST COMPROMISING EMANATIONS (OCT 2019)

L1:(a) The Contractor shall provide or use only information technology, as specified by the Government, that has been L0:accredited to meet the appropriate information assurance requirements of?

L1:(1) The National Security Agency National TEMPEST Standards (NSTISSAM TEMPEST 1-92, Compromising L0:Emanations Laboratory Test Requirements, Electromagnetics (U)); or

L1:(2) Other standards specified by this contract, including the date through which the required accreditation is current or

L0:valid for the contract.

L1:(b) Upon request of the Contracting Officer, the Contractor shall provide documentation supporting the accreditation.

L1:(c) The Government may, as part of its inspection and acceptance, conduct additional tests to ensure that information

L0:technology delivered under this contract satisfies the information assurance standards specified. The Government may

L0:conduct additional tests?

L1:(1) At the installation site or contractor's facility; and

L1:(2) Notwithstanding the existence of valid accreditations of information technology prior to the award of this contract.

L1:(d) Unless otherwise provided in this contract under the Warranty of Supplies or Warranty of Systems and Equipment

L0:clause, the Contractor shall correct or replace accepted information technology found to be deficient within 1 year after

L0:proper installations.

L1:(1) The correction or replacement shall be at no cost to the Government.

L1:(2) Should a modification to the delivered information technology be made by the Contractor, the 1-year period applies to

L0:the modification upon its proper installation.

L1:(3) This paragraph (d) applies regardless of f.o.b. point or the point of acceptance of the deficient information technology.

L0:(End of clause)

252.239-7001 Information Assurance Contractor Training and Certification

Status: active

L0:252.239-7001 Information Assurance Contractor Training and Certification.

L0:As prescribed in 239.7103 (b), use the following clause:

L0:INFORMATION ASSURANCE CONTRACTOR TRAINING AND CERTIFICATION (JAN 2008)

L1:(a) The Contractor shall ensure that personnel accessing information systems have the proper and current information

L0:assurance certification to perform information assurance functions in accordance with DoD 8570.01-M, Information

L0:Assurance Workforce Improvement Program. The Contractor shall meet the applicable information assurance

certification

L0:requirements, including?

L1:(1) DoD-approved information assurance workforce certifications appropriate for each category and level as listed in the

L0:current version of DoD 8570.01-M; and

L1:(2) Appropriate operating system certification for information assurance technical positions as required by DoD 8570.01M.

L1:(b) Upon request by the Government, the Contractor shall provide documentation supporting the information assurance

L0:certification status of personnel performing information assurance functions.

L1:(c) Contractor personnel who do not have proper and current certifications shall be denied access to DoD information

L0:systems for the purpose of performing information assurance functions.

L0:(End of clause)

252.239-7002 Access

Status: active

L0:252.239-7002 Access.

L0:As prescribed in 239.7411 (a), use the following clause:

L0:ACCESS (DEC 1991)

L1:(a) Subject to military security regulations, the Government shall permit the Contractor access at all reasonable times to

L0:Contractor furnished facilities. However, if the Government is unable to permit access, the Government at its own risk and

L0:expense shall maintain these facilities and the Contractor shall not be responsible for the service involving any of these

L0:facilities during the period of nonaccess, unless the service failure results from the Contractor's fault or negligence.

L1:(b) During periods when the Government does not permit Contractor access, the Government will reimburse the Contractor

L0:at mutually acceptable rates for the loss of or damage to the equipment due to the fault or negligence of the Government.

L0:Failure to agree shall be a dispute concerning a question of fact within the meaning of the Disputes clause of this contract.

L0:(End of clause)

252.239-7004 Orders for Facilities and Services

Status: active

L0:252.239-7004 Orders for Facilities and Services.

L0:As prescribed in 239.7411 (a), use the following clause:

L0:ORDERS FOR FACILITIES AND SERVICES (SEP 2019)

L1:(a) Definitions. As used in this clause?

L0:Governmental regulatory body? means the Federal Communications Commission, any statewide regulatory body, or any

L0:body with less than statewide jurisdiction when operating under the state authority. Regulatory bodies whose decisions are

L0:not subject to judicial appeal and regulatory bodies which regulate a company owned by the same entity that creates the

L0:regulatory body are not governmental regulatory bodies.

L1:(b) The Contractor shall acknowledge a communication service authorization or other type order for supplies and facilities

L0:by?

L1:(1) Commencing performance after receipt of an order; or

L1:(2) Written acceptance by a duly authorized representative.

L1:(c) The Contractor shall furnish the services and facilities under this agreement/contract in accordance with all applicable

L0:tariffs, rates, charges, regulations, requirements, terms, and conditions of?

L1:(1) Service and facilities furnished or offered by the Contractor to the general public or the Contractor's subscribers; or

L1:(2) Service as lawfully established by a governmental regulatory body.

L1:(d) The Government will not prepay for services.

L1:(e) For nontariffed services, the Contractor shall charge the Government at the lowest rate and under the most favorable

L0:terms and conditions for similar service and facilities offered to any other customer.

L1:(f) Recurring charges for services and facilities shall, in each case, start with the satisfactory beginning of service or

L0:provision of facilities or equipment and are payable monthly in arrears.

L1:(g) Expediting charges are costs necessary to get services earlier than normal. Examples are overtime pay or special

L0:shipment. When authorized, expediting charges shall be the additional costs incurred by the Contractor and the

L0:subcontractor. The Government shall pay expediting charges only when?

L1:(1) They are provided for in the tariff established by a governmental regulatory body; or

L1:(2) They are authorized in a communication service authorization or other contractual document.

L1:(h) When services normally provided are technically unacceptable and the development, fabrication, or manufacture of

L0:special equipment is required, the Government may?

L1:(1) Provide the equipment; or

L1:(2) Direct the Contractor to acquire the equipment or facilities. If the Contractor acquires the equipment or facilities, the

L0:acquisition shall be competitive, if practicable.

L1:(i) If at any time the Government defers or changes its orders for any of the services but does not cancel or terminate them,

L0:the amount paid or payable to the Contractor for the services deferred or modified shall be equitably adjusted under

L0:applicable tariffs filed by the Contractor with the regulatory commission in effect at the time of deferral or change. If no

L0:tariffs are in effect, the Government and the Contractor shall equitably adjust the rates by mutual agreement. Failure to

L0:agree on any adjustment shall be a dispute concerning a question of fact within the meaning of the Disputes clause

of this

L0:contract.

L0:(End of clause)

252.239-7007 Cancellation or Termination of Orders

Status: active

L0:252.239-7007 Cancellation or Termination of Orders.

L0:As prescribed in 239.7411 (a), use the following clause:

L0:CANCELLATION OR TERMINATION OF ORDERS (SEP 2019)

L1:(a) Definitions.

L0:Actual nonrecoverable costs? means the installed costs of the facilities and equipment, less cost of reusable materials, and

L0:less net salvage value.

L0:Basic cancellation liability? means the actual nonrecoverable cost, which the Government shall reimburse the Contractor

L0:at the time services are cancelled.

L0:Basic termination liability? means the nonrecoverable cost amortized in equal monthly increments throughout the liability

L0:period.

L0:Installed costs? means the actual cost of equipment and materials specifically provided or used, plus the actual cost of

L0:installing (including engineering, labor, supervision, transportation, rights-of-way, and any other items which are

L0:chargeable to the capital accounts of the Contractor), less any costs the government may have directly reimbursed the

L0:Contractor under the Special Construction and Equipment Charges clause of this agreement/contract.

L0:Net salvage value? means the salvage value less the cost of removal.

L1:(b) If the Government cancels any of the services ordered under this agreement/contract, before the services are made

L0:available to the Government, or terminates any of these services after they are made available to the Government, the

L0:Government will reimburse the Contractor for the actual nonrecoverable costs the Contractor has reasonably incurred in

L0:providing facilities and equipment for which the Contractor has no foreseeable reuse. The Government will not reimburse

L0:the Contractor for any actual nonrecoverable costs incurred after notice of award, but prior to execution of the order.

L1:(c) When feasible, the Contractor shall reuse cancelled or terminated facilities or equipment to minimize the charges to the

L0:Government.

L1:(d) If at any time the Government requires that telecommunications facilities or equipment be relocated within the

L0:Contractor's service area, the Government will have the option of paying the costs of relocating the facilities or equipment

L0:in lieu of paying any termination or cancellation charge under this clause. The basic cancellation liability or basic

L0:termination liability applicable to the facilities or equipment in their former location shall continue to apply to the

facilities

L0:and equipment in their new location. Monthly recurring charges shall continue to be paid during the period.

L1:(e) When there is another requirement or foreseeable reuse in place of cancelled or terminated facilities or equipment, no

L0:charge shall apply and the basic cancellation liability or basic termination liability shall be appropriately reduced. When

L0:feasible, the Contractor shall promptly reuse discontinued channels or facilities, including equipment for which the L0:Government is obligated to pay a minimum service charge.

L1:(f) The amount of the Government's liability upon cancellation or termination of any of the services ordered under this

L0:agreement/contract will be determined under applicable tariffs governing cancellation and termination charges which?

L1:(1) Are filed by the Contractor with a governmental regulatory body, as defined in the Rates, Charges, and Services clause

L0:of this agreement/contract;

L1:(2) Are in effect on the date of termination; and

L1:(3) Provide specific cancellation or termination charges for the facilities and equipment involved or show how to determine

L0:the charges.

L1:(g) The amount of the Government's liability upon cancellation or termination of any of the services ordered under this

L0:agreement/contract, which are not subject to a governmental regulatory body, will be determined under a mutually agreed

L0:schedule in the communication services authorization (CSA) or other contractual document.

L1:(h) If no applicable tariffs are in effect on the date of cancellation or termination or set forth in the applicable CSA or other

L0:contractual document, the Government's liability will be determined under the following settlement procedures?

L1:(1) The Contractor agrees to provide the Contracting Officer, in such reasonable detail as the Contracting Officer may

L0:require, inventory schedules covering all items of property or facilities in the Contractor's possession, the cost of which is

L0:included in the Basic Cancellation or Termination Liability for which the Contractor has no foreseeable reuse.

L1:(2) The Contractor shall use its best efforts to sell property or facilities when the Contractor has no foreseeable reuse or

L0:when the Government has not exercised its option to take title under the Title to Telecommunications Facilities and

L0:Equipment clause of this agreement/contract. The Contractor shall apply any proceeds of the sale to reduce any payments

L0:by the Government to the Contractor under a cancellation or termination settlement.

L1:(3) The Contractor shall record actual nonrecoverable costs under established accounting procedures prescribed by the

L0:cognizant governmental regulatory authority or, if no such procedures have been prescribed, under generally accepted

L0:accounting procedures applicable to the provision of telecommunication services for public use.

L1:(4) The net salvage value shall be deducted from the Contractor's installed cost. In determining net salvage value, the

L0:Contractor shall consider the foreseeable reuse of the facilities and equipment by the Contractor. The Contractor shall make

L0:allowance for the cost of dismantling, removal, reconditioning, and disposal of the facilities and equipment when necessary

L0:either for the sale of facilities or their reuse by the Contractor in another location.

L1:(5) Upon termination of services, the Government will reimburse the Contractor for the nonrecoverable cost less such costs

L0:amortized to the date services are terminated and establish the liability period as mutually agreed to but not to exceed ten

L0:years. In the case of either a cancellation or a termination, the Government's presumed maximum liability will be capped

L0:by the unpaid non-recurring charges and the monthly recurring charges set out in the contract/agreement. The presumed

L0:maximum liability for monthly recurring charges shall be capped at monthly recurring charges for the minimum service

L0:period and any required notice period.

L1:(6) When the basic cancellation liability or basic termination liability established by the CSA or other contractual document

L0:is based on estimated costs, the Contractor agrees to settle on the basis of actual cost at the time of cancellation or L0:termination.

L1:(7) The Contractor agrees that, if after settlement but within the termination liability period of the services, should the L0:Contractor make reuse of equipment or facilities which were treated as nonreusable or nonsalvage in the settlement, the

L0:Contractor shall reimburse the Government for the value of the equipment or facilities.

L1:(8) The Contractor agrees to exclude?

L1:(i) Any costs which are not included in determining cancellation and termination charges under the Contractor's standard

L0:practices or procedures; and

L1:(ii) Charges not ordinarily made by the Contractor for similar facilities or equipment, furnished under similar

L0:circumstances.

L1:(i) The Government may, under such terms and conditions as it may prescribe, make partial payments and payments on

L0:account against costs incurred by the Contractor in connection with the cancelled or terminated portion of this

L0:agreement/contract. The Government may make these payments if the Contracting Officer determines that the total of the

L0:payments is within the amount the Contractor is entitled. If the total of the payments is in excess of the amount finally

L0:agreed or determined to be due under this clause, the Contractor shall pay the excess to the Government upon demand.

L1:(j) Failure to agree shall be a dispute concerning a question of fact within the meaning of the Disputes clause.

L0:(End of clause)

252.239-7009 Representation of Use of Cloud Computing

Status: active

L0:252.239-7009 Representation of Use of Cloud Computing.

L0:As prescribed in 239.7604 (a), use the following provision:

L0:REPRESENTATION OF USE OF CLOUD COMPUTING (SEP 2015)

L1:(a) Definition. ?Cloud computing,? as used in this provision, means a model for enabling ubiquitous, convenient, ondemand network access to a shared pool of configurable computing resources (e.g., networks, servers, storage, L0:applications, and services) that can be rapidly provisioned and released with minimal management effort or service L0:provider interaction. This includes other commercial terms, such as on-demand self-service, broad network access, L0:resource pooling, rapid elasticity, and measured service. It also includes commercial offerings for software-as-a-service,

L0:infrastructure-as-a-service, and platform-as-a-service.

L1:(b) The Offeror shall indicate by checking the appropriate blank in paragraph (c) of this provision whether the use of cloud

L0:computing is anticipated under the resultant contract.

L1:(c) Representation. The Offeror represents that it?

L0:_____ Does anticipate that cloud computing services will be used in the performance of any contract or subcontract L0:resulting from this solicitation.

L0:_____ Does not anticipate that cloud computing services will be used in the performance of any contract or subcontract

L0:resulting from this solicitation.

L0:(End of provision)

252.239-7010 Cloud Computing Services

Status: active

L0:252.239-7010 Cloud Computing Services.

L0:As prescribed in 239.7604 (b), use the following clause:

L0:CLOUD COMPUTING SERVICES (JAN 2023)

L1:(a)Definitions.As used in this clause?

L0:?'Authorizing official,?' as described in DoD Instruction 8510.01, Risk Management Framework (RMF) for DoD

L0:Information Technology (IT), means the senior Federal official or executive with the authority to formally assume

L0:responsibility for operating an information system at an acceptable level of risk to organizational operations (including

L0:mission, functions, image, or reputation), organizational assets, individuals, other organizations, and the Nation.

L0:?'Cloud computing?' means a model for enabling ubiquitous, convenient, on-demand network access to a shared pool of

L0:configurable computing resources (e.g., networks, servers, storage, applications, and services) that can be rapidly

L0:provisioned and released with minimal management effort or service provider interaction. This includes other commercial

L0:terms, such as on-demand self-service, broad network access, resource pooling, rapid elasticity, and measured service. It

L0:also includes commercial offerings for software-as-a-service, infrastructure-as-a-service, and platform-as-a-service.

L0:?'Compromise?' means disclosure of information to unauthorized persons, or a violation of the security policy of a system,

L0:in which unauthorized intentional or unintentional disclosure, modification, destruction, or loss of an object, or the

copying

L0:of information to unauthorized media may have occurred.

L0:?"Cyber incident?" means actions taken through the use of computer networks that result in a compromise or an actual or

L0:potentially adverse effect on an information system and/or the information residing therein.

L0:?"Government data?" means any information, document, media, or machine readable material regardless of physical form or

L0:characteristics, that is created or obtained by the Government in the course of official Government business.

L0:?"Government-related data?" means any information, document, media, or machine readable material regardless of physical

L0:form or characteristics that is created or obtained by a contractor through the storage, processing, or communication of

L0:Government data. This does not include contractor?s business records e.g. financial records, legal records etc. or data such

L0:as operating procedures, software coding or algorithms that are not uniquely applied to the Government data.

L0:?"Information system?" means a discrete set of information resources organized for the collection, processing, maintenance,

L0:use, sharing, dissemination, or disposition of information.

L0:?"Media?" means physical devices or writing surfaces including, but not limited to, magnetic tapes, optical disks, magnetic

L0:disks, large-scale integration memory chips, and printouts onto which information is recorded, stored, or printed within an

L0:information system.

L0:?"Spillage?" security incident that results in the transfer of classified or controlled unclassified information onto an

L0:information system not accredited (i.e., authorized) for the appropriate security level.

L1:(b) Cloud computing security requirements. The requirements of this clause are applicable when using cloud computing to

L0:provide information technology services in the performance of the contract.

L1:(1) If the Contractor indicated in its offer that it ?does not anticipate the use of cloud computing services in the

L0:performance of a resultant contract,? in response to provision 252.239-7009 , Representation of Use of Cloud Computing,

L0:and after the award of this contract, the Contractor proposes to use cloud computing services in the performance of the

L0:contract, the Contractor shall obtain approval from the Contracting Officer prior to utilizing cloud computing services in

L0:performance of the contract.

L1:(2) The Contractor shall implement and maintain administrative, technical, and physical safeguards and controls with the

L0:security level and services required in accordance with the Cloud Computing Security Requirements Guide (SRG) (version

L0:in effect at the time the solicitation is issued or as authorized by the Contracting Officer) found at <https://public.cyber.mil/>

L0:dccs/dccs-documents/ unless notified by the Contracting Officer that this requirement has been waived by the DoD Chief

L0:Information Officer.

L1:(3) The Contractor shall maintain within the United States or outlying areas all Government data that is not physically L0:located on DoD premises, unless the Contractor receives written notification from the Contracting Officer to use another

L0:location, in accordance with DFARS 239.7602-2 (a).

L1:(c) Limitations on access to, and use and disclosure of Government data and Government-related data.

L1:(1) The Contractor shall not access, use, or disclose Government data unless specifically authorized by the terms of this

L0:contract or a task order or delivery order issued hereunder.

L1:(i) If authorized by the terms of this contract or a task order or delivery order issued hereunder, any access to, or use or

L0:disclosure of, Government data shall only be for purposes specified in this contract or task order or delivery order.

L1:(ii) The Contractor shall ensure that its employees are subject to all such access, use, and disclosure prohibitions and

L0:obligations.

L1:(iii) These access, use, and disclosure prohibitions and obligations shall survive the expiration or termination of this

L0:contract.

L1:(2) The Contractor shall use Government-related data only to manage the operational environment that supports the L0:Government data and for no other purpose unless otherwise permitted with the prior written approval of the Contracting

L0:Officer.

L1:(d) Cloud computing services cyber incident reporting. The Contractor shall report all cyber incidents that are related to the

L0:cloud computing service provided under this contract. Reports shall be submitted to DoD via <http://dibnet.dod.mil/>.

L1:(e) Malicious software. The Contractor or subcontractors that discover and isolate malicious software in connection with a

L0:reported cyber incident shall submit the malicious software in accordance with instructions provided by the Contracting

L0:Officer.

L1:(f) Media preservation and protection. When a Contractor discovers a cyber incident has occurred, the Contractor shall

L0:preserve and protect images of all known affected information systems identified in the cyber incident report (see L0:paragraph (d) of this clause) and all relevant monitoring/packet capture data for at least 90 days from the submission of the

L0:cyber incident report to allow DoD to request the media or decline interest.

L1:(g) Access to additional information or equipment necessary for forensic analysis. Upon request by DoD, the Contractor

L0:shall provide DoD with access to additional information or equipment that is necessary to conduct a forensic analysis.

L1:(h) Cyber incident damage assessment activities. If DoD elects to conduct a damage assessment, the Contracting Officer

L0:will request that the Contractor provide all of the damage assessment information gathered in accordance with paragraph

L1:(f) of this clause.

L1:(i) Records management and facility access.

L1:(1) The Contractor shall provide the Contracting Officer all Government data and Government-related data in the

format

L0:specified in the contract.

L1:(2) The Contractor shall dispose of Government data and Government-related data in accordance with the terms of the

L0:contract and provide the confirmation of disposition to the Contracting Officer in accordance with contract closeout

L0:procedures.

L1:(3) The Contractor shall provide the Government, or its authorized representatives, access to all Government data and

L0:Government-related data, access to contractor personnel involved in performance of the contract, and physical access to

L0:any Contractor facility with Government data, for the purpose of audits, investigations, inspections, or other similar

L0:activities, as authorized by law or regulation.

L1:(j) Notification of third party access requests. The Contractor shall notify the Contracting Officer promptly of any requests

L0:from a third party for access to Government data or Government-related data, including any warrants, seizures, or

L0:subpoenas it receives, including those from another Federal, State, or local agency.

L0:The Contractor shall cooperate with the Contracting Officer to take all measures to protect Government data and

L0:Government-related data from any unauthorized disclosure.

L1:(k) Spillage.Upon notification by the Government of a spillage, or upon the Contractor's discovery of a spillage, the

L0:Contractor shall cooperate with the Contracting Officer to address the spillage in compliance with agency procedures.

L1:(l) Subcontracts. The Contractor shall include this clause, including this paragraph (l), in all subcontracts that involve or

L0:may involve cloud services, including subcontracts for commercial services.

L0:(End of clause)

252.239-7011 Special Construction and Equipment Charges

Status: active

L0:252.239-7011 Special Construction and Equipment Charges.

L0:As prescribed in 239.7411 (b), use the following clause:

L0:SPECIAL CONSTRUCTION AND EQUIPMENT CHARGES (DEC 1991)

L1:(a) The Government will not directly reimburse the Contractor for the cost of constructing any facilities or providing any

L0:equipment, unless the Contracting Officer authorizes direct reimbursement.

L1:(b) If the Contractor stops using facilities or equipment which the Government has, in whole or part, directly reimbursed,

L0:the Contractor shall allow the Government credit for the value of the facilities or equipment attributable to the

L0:Government's contribution. Determine the value of the facilities and equipment on the basis of their foreseeable reuse by

L0:the Contractor at the time their use is discontinued or on the basis of the net salvage value, whichever is greater. The

L0:Contractor shall promptly pay the Government the amount of any credit.

L1:(c) The amount of the direct special construction charge shall not exceed?

L1:(1) The actual costs to the Contractor; and

L1:(2) An amount properly allocable to the services to be provided to the Government.

L1:(d) The amount of the direct special construction charge shall not include costs incurred by the Contractor which are
L0:covered by?

L1:(1) A cancellation or termination liability; or

L1:(2) The Contractor's recurring or other nonrecurring charges.

L1:(e) The Contractor represents that?

L1:(1) Recurring charges for the services, facilities, and equipment do not include in the rate base any costs that have
been

L0:reimbursed by the Government to the Contractor; and

L1:(2) Depreciation charges are based only on the cost of facilities and equipment paid by the Contractor and not
reimbursed

L0:by the Government.

L1:(f) If it becomes necessary for the Contractor to incur costs to replace any facilities or equipment, the Government
shall

L0:assume those costs or reimburse the Contractor for replacement costs at mutually acceptable rates under the
following

L0:circumstances?

L1:(1) The Government paid direct special construction charges; or

L1:(2) The Government reimbursed the Contractor for those facilities or equipment as a part of the recurring charges;
and

L1:(3) The need for replacement was due to circumstances beyond the control and without the fault of the Contractor.

L1:(g) Before incurring any costs under paragraph (f) of this clause, the Government shall have the right to terminate
the

L0:service under the Cancellation or Termination of Orders clause of this contract.

L0:(End of clause)

252.239-7012 Title to Telecommunication Facilities and Equipment

Status: active

L0:252.239-7012 Title to Telecommunication Facilities and Equipment.

L0:As prescribed in 239.7411 (b), use the following clause:

L0:TITLE TO TELECOMMUNICATION FACILITIES AND EQUIPMENT (DEC 1991)

L1:(a) Title to all Contractor furnished facilities and equipment used under this agreement/contract shall remain with the
L0:Contractor even if the Government paid the costs of constructing the facilities or equipment. A mutually accepted
L0:communications service authorization may provide for exceptions.

L1:(b) The Contractor shall operate and maintain all telecommunication facilities and equipment used under this
L0:agreement/contract whether the Government or the Contractor has title.

L0:(End of clause)

252.239-7013 Term of Agreement and Continuation of Services

Status: active

L0:252.239-7013 Term of Agreement and Continuation of Services.

L0:Basic. As prescribed in 239.7411 (c)(1), use the following clause:

L0:TERM OF AGREEMENT AND CONTINUATION OF SERVICES-BASIC (OCT 2019)

L1:(a) This basic agreement is not a contract. The Government incurs liability only upon issuance of a communication service

L0:authorization, which is a contract that incorporates the terms and conditions of this basic agreement.

L1:(b) This agreement shall continue in force from year to year, unless terminated by either party by 30 days? written notice.

L0:Termination of this basic agreement does not terminate or cancel any communication service authorizations issued under

L0:this basic agreement prior to the termination.

L1:(c) Communication service authorizations issued under this basic agreement may be modified to incorporate the terms and

L0:conditions of a new basic agreement negotiated with the Contractor.

L0:(End of clause)

L0:Alternate I. As prescribed in 239.7411 (c)(2), use the following clause, which uses a different paragraph (c) than the basic

L0:clause and adds a new paragraph (d).

L0:TERM OF AGREEMENT AND CONTINUATION OF SERVICES-ALTERNATE I (OCT 2019)

L1:(a) This basic agreement is not a contract. The Government incurs liability only upon issuance of a communication service

L0:authorization, which is a contract that incorporates the terms and conditions of this basic agreement.

L1:(b) This agreement shall continue in force from year to year, unless terminated by either party by 30 days? written notice.

L0:Termination of this basic agreement does not terminate or cancel any communication service authorizations issued under

L0:this basic agreement prior to the termination.

L1:(c) The Contractor?s current communication services authorizations have been modified to incorporate the terms and

L0:conditions of this basic agreement.

L1:(1) All current communication service authorizations issued by _____ that incorporate Basic Agreement

L0:Number _____, dated _____, are modified to incorporate this basic agreement.

L1:(2) Current communication service authorizations, issued by the activity in paragraph (c)(1) of this clause, that incorporate

L0:other agreements with the Contractor may also be modified to incorporate this basic agreement.

L1:(d) Communication service authorizations issued under this basic agreement may be modified to incorporate a new basic

L0:agreement with the Contractor.

L0:(End of clause)

252.239-7016 Telecommunications Security Equipment, Devices, Techniques, and Services

Status: active

L0:252.239-7016 Telecommunications Security Equipment, Devices, Techniques, and Services.

L0:As prescribed in 239.7411 (d), use the following clause:

L0:TELECOMMUNICATIONS SECURITY EQUIPMENT, DEVICES, TECHNIQUES, AND SERVICES (DEC 1991)

L1:(a) Definitions. As used in this clause?

L1:(1) ?Securing? means the application of Government-approved telecommunications security equipment, devices,

L0:techniques, or services to contractor telecommunications systems.

L1:(2) ?Sensitive information? means any information the loss, misuse, or modification of which, or unauthorized access to,

L0:could adversely affect the national interest or the conduct of Federal programs, or the privacy to which individuals are

L0:entitled under 5 U.S.C. 552a (the Privacy Act), but which has not been specifically authorized under criteria established by

L0:an Executive Order or Act of Congress to be kept secret in the interest of national defense or foreign policy.

L1:(3) ?Telecommunications systems? means voice, record, and data communications, including management information

L0:systems and local data networks that connect to external transmission media, when employed by Government agencies,

L0:contractors, and subcontractors to transmit?

L1:(i) Classified or sensitive information;

L1:(ii) Matters involving intelligence activities, cryptologic activities related to national security, the command and control of

L0:military forces, or equipment that is an integral part of a weapon or weapons system; or

L1:(iii) Matters critical to the direct fulfillment of military or intelligence missions.

L1:(b) This solicitation/contract identifies classified or sensitive information that requires securing during telecommunications

L0:and requires the Contractor to secure telecommunications systems. The Contractor agrees to secure information and

L0:systems at the following location: (Identify the location.)

L1:(c) To provide the security, the Contractor shall use Government-approved telecommunications equipment, devices, L0:techniques, or services. A list of the approved equipment, etc. may be obtained from (identify where list can be obtained).

L0:Equipment, devices, techniques, or services used by the Contractor must be compatible or interoperable with (list and

L0:identify the location of any telecommunications security equipment, device, technique, or service currently being used by

L0:the technical or requirements organization or other offices with which the Contractor must communicate).

L1:(d) Except as may be provided elsewhere in this contract, the Contractor shall furnish all telecommunications security

L0:equipment, devices, techniques, or services necessary to perform this contract. The Contractor must meet ownership

L0:eligibility conditions for communications security equipment designated as controlled cryptographic items.

L1:(e) The Contractor agrees to include this clause, including this paragraph (e), in all subcontracts which require securing

L0:telecommunications.

L0:(End of clause)

252.239-7017 Notice of Supply Chain Risk

Status: active

L0:252.239-7017 Notice of Supply Chain Risk.

L0:As prescribed in 239.7306 (a), use the following provision:

L0:NOTICE OF SUPPLY CHAIN RISK (DEC 2022)

L1:(a) Definitions. "Supply chain risk," as used in this provision, means the risk that an adversary may sabotage, maliciously

L0:introduce unwanted function, or otherwise subvert the design, integrity, manufacturing, production, distribution,

L0:installation, operation, or maintenance of a covered system so as to surveil, deny, disrupt, or otherwise degrade the

L0:function, use, or operation of such system (10 U.S.C. 3252).

L1:(b) In order to manage supply chain risk, the Government may use the authorities provided by section 10 U.S.C. 3252. In

L0:exercising these authorities, the Government may consider information, public and non-public, including all-source

L0:intelligence, relating to an offeror and its supply chain.

L1:(c) If the Government exercises the authority provided in 10 U.S.C. 3252 to limit disclosure of information, no action

L0:undertaken by the Government under such authority shall be subject to review in a bid protest before the Government

L0:Accountability Office or in any Federal court.

L0:(End of provision)

252.239-7018 Supply Chain Risk

Status: active

L0:252.239-7018 Supply Chain Risk.

L0:As prescribed in 239.7306 (b), use the following clause:

L0:SUPPLY CHAIN RISK (DEC 2022)

L1:(a) Definitions. As used in this clause-

L0:"Information technology" (see 40 U.S.C 11101(6)) means, in lieu of the definition at FAR 2.1, any equipment, or

L0:interconnected system(s) or subsystem(s) of equipment, that is used in the automatic acquisition, storage, analysis,

L0:evaluation, manipulation, management, movement, control, display, switching, interchange, transmission, or reception of

L0:data or information by the agency.

L1:(1) For purposes of this definition, equipment is used by an agency if the equipment is used by the agency directly or is

L0:used by a contractor under a contract with the agency that requires?

L1:(i) Its use; or

L1:(ii) To a significant extent, its use in the performance of a service or the furnishing of a product.

L1:(2) The term "information technology" includes computers, ancillary equipment (including imaging peripherals, input,

L0:output, and storage devices necessary for security and surveillance), peripheral equipment designed to be controlled by the

L0:central processing unit of a computer, software, firmware and similar procedures, services (including support services), and

L0:related resources.

L1:(3) The term "information technology" does not include any equipment acquired by a contractor incidental to a contract.

L0:"Supply chain risk," means the risk that an adversary may sabotage, maliciously introduce unwanted function, or otherwise

L0:subvert the design, integrity, manufacturing, production, distribution, installation, operation, or maintenance of a covered

L0:system so as to surveil, deny, disrupt, or otherwise degrade the function, use, or operation of such system (see 10 U.S.C.

L0:3252).

L1:(b) The Contractor shall mitigate supply chain risk in the provision of supplies and services to the Government.

L1:(c) In order to manage supply chain risk, the Government may use the authorities provided by 10 U.S.C. 3252. In

L0:exercising these authorities, the Government may consider information, public and non-public, including all-source

L0:intelligence, relating to a Contractor's supply chain.

L1:(d) If the Government exercises the authority provided in 10 U.S.C. 3252 to limit disclosure of information, no action

L0:undertaken by the Government under such authority shall be subject to review in a bid protest before the Government

L0:Accountability Office or in any Federal court.

L0:(End of clause)

252.241-7000 Superseding Contract

Status: active

L0:252.241-7000 Superseding Contract.

L0:As prescribed in 241.501-70 (a), use the following clause:

L0:SUPERSEDING CONTRACT (DEC 1991)

L0:This contract supersedes contract No. _____, dated _____ which provided similar services.

L0:Any capital credits accrued to the Government, any remaining credits due to the Government under the connection charge,

L0:or any termination liability are transferred to this contract, as follows:

L0:CAPITAL CREDITS: (List years and accrued credits by year and separate delivery points.)

L0:OUTSTANDING CONNECTION CHARGE CREDITS: (List by month and year the amount credited and show the

L0:remaining amount of outstanding credits due the Government.)

L0:TERMINATION LIABILITY CHARGES: (List by month and year the amount of monthly facility cost recovered and

L0:show the remaining amount of facility cost to be recovered.)

L0:(End of clause)

252.241-7001 Government Access

Status: active

L0:252.241-7001 Government Access.

L0:As prescribed in 241.501-70 (b), use the following clause:

L0:GOVERNMENT ACCESS (DEC 1991)

L0:Authorized representatives of the Government may have access to the Contractor's on-base facilities upon reasonable

L0:notice or in case of emergency.

L0:(End of clause)

252.242-7004 Material Management and Accounting System

Status: active

L0:252.242-7004 Material Management and Accounting System.

L0:As prescribed in 242.7204 , use the following clause:

L0:MATERIAL MANAGEMENT AND ACCOUNTING SYSTEM (JAN 2025)

L1:(a) Definitions.As used in this clause?

L0:?Acceptable material management and accounting system? means a material management and accounting system that

L0:generally complies with the system criteria in paragraph (d) of this clause.

L0:?Contractor? means a business unit as defined in Federal Acquisition Regulation (FAR) 2.101.

L0:?Material management and accounting system (MMAS)? means the Contractor?s system or systems for planning,

L0:controlling, and accounting for the acquisition, use, issuing, and disposition of material. Material management and

L0:accounting systems may be manual or automated. They may be stand-alone systems, or they may be integrated with

L0:planning, engineering, estimating, purchasing, inventory, accounting, or other systems.

L0:?Material weakness? means a deficiency or combination of deficiencies in the internal control over information in

L0:contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will

L0:not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an

L0:event occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L0:?Valid time-phased requirements? means material that is?

L1:(1) Needed to fulfill the production plan, including reasonable quantities for scrap, shrinkage, yield, etc.; and

L1:(2) Charged or billed to contracts or other cost objectives in a manner consistent with the need to fulfill the production

L0:plan.

L1:(b) General.The Contractor shall?

L1:(1) Maintain an MMAS that?

L1:(i) Reasonably forecasts material requirements;

L1:(ii) Ensures that costs of purchased and fabricated material charged or allocated to a contract are based on valid timephased requirements; and

L1:(iii) Maintains a consistent, equitable, and unbiased logic for costing of material transactions; and

L1:(2) Assess its MMAS and take reasonable action to comply with the MMAS standards in paragraph (e) of this clause.

L1:(c) Disclosure and maintenance requirements.The Contractor shall?

L1:(1) Have policies, procedures, and operating instructions that adequately describe its MMAS;

L1:(2) Provide to the Administrative Contracting Officer (ACO), upon request, the results of internal reviews that it has conducted to ensure compliance with established MMAS policies, procedures, and operating instructions; and

L1:(3) Disclose significant changes in its MMAS to the ACO at least 30 days prior to implementation.

L1:(d) System criteria. The MMAS shall have adequate internal controls to ensure system and data integrity, and shall?

L1:(1) Have an adequate system description including policies, procedures, and operating instructions that comply with the

L0:FAR and Defense FAR Supplement;

L1:(2) Ensure that costs of purchased and fabricated material charged or allocated to a contract are based on valid time-phased

L0:requirements as impacted by minimum/economic order quantity restrictions.

L1:(i) A 98 percent bill of material accuracy and a 95 percent master production schedule accuracy are desirable as a goal in

L0:order to ensure that requirements are both valid and appropriately time-phased.

L1:(ii) If systems have accuracy levels below these, the Contractor shall provide adequate evidence that?

L1:(A) There is no material harm to the Government due to lower accuracy levels; and

L1:(B) The cost to meet the accuracy goals is excessive in relation to the impact on the Government;

L1:(3) Provide a mechanism to identify, report, and resolve system control weaknesses and manual override. Systems should

L0:identify operational exceptions, such as excess/residual inventory, as soon as known;

L1:(4) Provide audit trails and maintain records (manual and those in machine-readable form) necessary to evaluate system

L0:logic and to verify through transaction testing that the system is operating as desired;

L1:(5) Establish and maintain adequate levels of record accuracy, and include reconciliation of recorded inventory quantities to

L0:physical inventory by part number on a periodic basis. A 95 percent accuracy level is desirable. If systems have an

L0:accuracy level below 95 percent, the Contractor shall provide adequate evidence that?

L1:(i) There is no material harm to the Government due to lower accuracy levels; and

L1:(ii) The cost to meet the accuracy goal is excessive in relation to the impact on the Government;

L1:(6) Provide detailed descriptions of circumstances that will result in manual or system generated transfers of parts;

L1:(7) Maintain a consistent, equitable, and unbiased logic for costing of material transactions as follows:

L1:(i) The Contractor shall maintain and disclose written policies describing the transfer methodology and the loan/pay-back

L0:technique.

L1:(ii) The costing methodology may be standard or actual cost, or any of the inventory costing methods in 48 CFR 9904.41150(b). The Contractor shall maintain consistency across all contract and customer types, and from accounting period to

L0:accounting period for initial charging and transfer charging.

L1:(iii) The system should transfer parts and associated costs within the same billing period. In the few instances where this

L0:may not be appropriate, the Contractor may accomplish the material transaction using a loan/pay-back technique. The

L0:loan/pay-back technique? means that the physical part is moved temporarily from the contract, but the cost of the part

L0:remains on the contract. The procedures for the loan/pay-back technique must be approved by the ACO. When the

L0:technique is used, the Contractor shall have controls to ensure?

L1:(A) Parts are paid back expeditiously;

L1:(B) Procedures and controls are in place to correct any overbilling that might occur;

L1:(C) Monthly, at a minimum, identification of the borrowing contract and the date the part was borrowed; and

L1:(D) The cost of the replacement part is charged to the borrowing contract;

L1:(8) Where allocations from common inventory accounts are used, have controls (in addition to those in paragraphs (d)(2)

L0:and (7) of this clause) to ensure that?

L1:(i) Reallocations and any credit due are processed no less frequently than the routine billing cycle;

L1:(ii) Inventories retained for requirements that are not under contract are not allocated to contracts; and

L1:(iii) Algorithms are maintained based on valid and current data;

L1:(9) Have adequate controls to ensure that physically commingled inventories that may include material for which costs are

L0:charged or allocated to fixed-price, cost-reimbursement, and commercial contracts do not compromise requirements of any

L0:of the standards in paragraphs (d)(1) through (8) of this clause. Government-furnished material shall not be?

L1:(i) Physically commingled with other material; or

L1:(ii) Used on commercial work; and

L1:(10) Be subjected to periodic internal reviews to ensure compliance with established policies and procedures.

L1:(e) Material weaknesses.

L1:(1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any material weaknesses.

L0:The initial determination will describe the underlying deficiencies in sufficient detail to allow the Contractor to understand

L0:the weaknesses or deficiencies.

L1:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that

L0:identifies material weaknesses in the Contractor's MMAS. If the Contractor disagrees with the initial determination, the

L0:Contractor shall state, in writing, its rationale for disagreeing.

L1:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting

L0:Officer's final determination concerning?

L1:(i) Remaining material weaknesses;

L1:(ii) The adequacy of any proposed or completed corrective action; and

L1:(iii) System disapproval if the Contracting Officer determines that one or more material weaknesses remain.

L1:(f) If the Contractor receives the Contracting Officer's final determination of material weaknesses, the Contractor shall,

L0:within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable

L0:corrective action plan showing milestones and actions to eliminate the material weaknesses.

L1:(g) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor's MMAS,

L0:and the contract includes the clause at 252.242-7005 , Contractor Business Systems, the Contracting Officer will withhold

L0:payments in accordance with that clause.

L0:(End of clause)

252.242-7005 Contractor Business Systems

Status: active

L0:252.242-7005 Contractor Business Systems.

L0:As prescribed in 242.7001 , use the following clause:

L0:CONTRACTOR BUSINESS SYSTEMS (JAN 2025)

L1:(a) This clause only applies to covered contracts that are subject to the Cost Accounting Standards under 41 U.S.C. chapter

L0:15, as implemented in regulations found at 48 CFR 9903.201-1 (see the FAR Appendix).

L1:(b) Definitions. As used in this clause?

L0:Acceptable contractor business systems? means contractor business systems that comply with the terms and conditions of

L0:the applicable business system clauses listed in the definition of "contractor business systems" in this clause.

L0:Contractor business systems? means?

L1:(1) Accounting system, if this contract includes the clause at 252.242-7006 , Accounting System Administration;

L1:(2) Earned value management system, if this contract includes the clause at 252.234-7002 , Earned Value Management

L0:System;

L1:(3) Estimating system, if this contract includes the clause at 252.215-7002 , Cost Estimating System Requirements;

L1:(4) Material management and accounting system, if this contract includes the clause at 252.242-7004 , Material

L0:Management and Accounting System;

L1:(5) Property management system, if this contract includes the clause at 252.245-7003 , Contractor Property Management

L0:System Administration; and

L1:(6) Purchasing system, if this contract includes the clause at 252.244-7001 , Contractor Purchasing System Administration.

L0:Material weakness? means a deficiency or combination of deficiencies in the internal control over information in

L0:contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will

L0:not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an

L0:event occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L1:(c) General. The Contractor shall establish and maintain acceptable business systems in accordance with the terms and

L0:conditions of this contract.

L1:(d) Material weaknesses.

L1:(1) The Contractor shall respond, in writing, within 30 days to an initial determination that there are one or more material

L0:weaknesses in one or more of the Contractor's business systems.

L1:(2) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the final

L0:determination as to whether the Contractor's business system contains material weaknesses. If the Contracting Officer

L0:determines that the Contractor's business system contains material weaknesses, the final determination will include

a

L0:notice to withhold payments.

L1:(e) Withholding payments.

L1:(1) If the Contracting Officer issues the final determination with a notice to withhold payments for material weaknesses in

L0:a contractor business system required under this contract, the Contracting Officer will withhold 5 percent of amounts due

L0:from progress payments and performance-based payments, and direct the Contractor, in writing, to withhold 5 percent from

L0:its billings on interim cost vouchers on cost-reimbursement, labor-hour, and time-and-materials contracts until the

L0:Contracting Officer has determined that the Contractor has corrected all material weaknesses as directed by the Contracting

L0:Officer's final determination. The Contractor shall, within 45 days of receipt of the notice, either correct the weaknesses or

L0:submit an acceptable corrective action plan showing milestones and actions to eliminate the weaknesses.

L1:(2) If the Contractor submits an acceptable corrective action plan within 45 days of receipt of a notice of the Contracting

L0:Officer's intent to withhold payments, and the Contracting Officer, in consultation with the auditor or functional specialist,

L0:determines that the Contractor is effectively implementing such plan, the Contracting Officer will reduce withholding

L0:directly related to the material weaknesses covered under the corrective action plan, to 2 percent from progress payments

L0:and performance-based payments, and direct the Contractor, in writing, to reduce the percentage withheld on interim cost

L0:vouchers to 2 percent until the Contracting Officer determines the Contractor has corrected all material weaknesses as

L0:directed by the Contracting Officer's final determination. However, if at any time, the Contracting Officer determines that

L0:the Contractor has failed to follow the accepted corrective action plan, the Contracting Officer will increase withholding

L0:from progress payments and performance-based payments, and direct the Contractor, in writing, to increase the percentage

L0:withheld on interim cost vouchers to the percentage initially withheld, until the Contracting Officer determines that the

L0:Contractor has corrected all material weaknesses as directed by the Contracting Officer's final determination.

L1:(3) Payment withhold percentage limits.

L1:(i) The total percentage of payments withheld on amounts due under each progress payment, performance-based payment,

L0:or interim cost voucher, on this contract shall not exceed?

L1:(A) Five percent for one or more material weaknesses in any single contractor business system; and

L1:(B) Ten percent for material weaknesses in multiple contractor business systems.

L1:(ii) If this contract contains pre-existing withholds, and the application of any subsequent payment withholds will cause

L0:withholding under this clause to exceed the payment withhold percentage limits in paragraph (e)(3)(i) of this clause, the

L0:Contracting Officer will reduce the payment withhold percentage in the final determination to an amount that will not exceed the payment withhold percentage limits.

L1:(4) For the purpose of this clause, payment means any of the following payments authorized under this contract:

L1:(i) Interim payments under?

L1:(A) Cost-reimbursement contracts;

L1:(B) Incentive type contracts;

L1:(C) Time-and-materials contracts;

L1:(D) Labor-hour contracts.

L1:(ii) Progress payments.

L1:(iii) Performance-based payments.

L1:(5) Payment withholding shall not apply to payments on fixed-price line items where performance is complete and the

L0:items were accepted by the Government.

L1:(6) The withholding of any amount or subsequent payment to the Contractor shall not be construed as a waiver of any

L0:rights or remedies the Government has under this contract.

L1:(7) Notwithstanding the provisions of any clause in this contract providing for interim, partial, or other payment

L0:withholding on any basis, the Contracting Officer may withhold payment in accordance with the provisions of this clause.

L1:(8) The payment withholding authorized in this clause is not subject to the interest-penalty provisions of the Prompt

L0:Payment Act.

L1:(f) Correction of weaknesses .

L1:(1) The Contractor shall notify the Contracting Officer, in writing, when the Contractor has corrected the business system?s

L0:weaknesses.

L1:(2) Once the Contractor has notified the Contracting Officer that all weaknesses have been corrected, the Contracting

L0:Officer will take one of the following actions:

L1:(i) If the Contracting Officer determines that the Contractor has corrected all material weaknesses as directed by the

L0:Contracting Officer?s final determination, the Contracting Officer will, as appropriate, discontinue the withholding of

L0:progress payments and performance-based payments, and direct the Contractor, in writing, to discontinue the payment

L0:withholding from billings on interim cost vouchers under this contract associated with the Contracting Officer?s final

L0:determination, and authorize the Contractor to bill for any monies previously withheld that are not also being withheld due

L0:to other material weaknesses. Any payment withholding under this contract due to other material weaknesses will remain

L0:in effect until the Contracting Officer determines that those material weaknesses are corrected.

L1:(ii) If the Contracting Officer determines that the Contractor still has material weaknesses, the Contracting Officer will

L0:continue the withholding of progress payments and performance-based payments, and the Contractor shall continue

L0:withholding amounts from its billings on interim cost vouchers in accordance with paragraph (e) of this clause, and not bill

L0:for any monies previously withheld.

L1:(iii) If the Contracting Officer determines, based on the evidence submitted by the Contractor, that there is a reasonable

L0:expectation that the corrective actions have been implemented and are expected to correct the material weaknesses, the

L0:Contracting Officer will discontinue withholding payments, release any payments previously withheld directly related to

L0:the material weaknesses identified in the Contractor notification, direct the Contractor, in writing, to discontinue the

L0:payment withholding from billings on interim cost vouchers associated with the Contracting Officer's final determination,

L0:and authorize the Contractor to bill for any monies previously withheld.

L1:(iv) If, within 90 days of receipt of the Contractor notification that the Contractor has corrected the material weaknesses,

L0:the Contracting Officer has not made a determination in accordance with paragraph (f)(2)(i), (ii), or (iii) of this clause, the

L0:Contracting Officer will reduce withholding directly related to the material weaknesses identified in the Contractor

L0:notification by at least 50 percent of the amount being withheld from progress payments and performance-based payments,

L0:and direct the Contractor, in writing, to reduce the payment withholding from billings on interim cost vouchers directly

L0:related to the material weaknesses identified in the Contractor notification by a specified percentage that is at least 50

L0:percent, but not authorize the Contractor to bill for any monies previously withheld until the Contracting Officer makes a

L0:determination in accordance with paragraph (f)(2)(i), (ii), or (iii) of this clause.

L1:(v) At any time after the Contracting Officer reduces or discontinues the withholding of progress payments and

L0:performance-based payments, or directs the Contractor to reduce or discontinue the payment withholding from billings on

L0:interim cost vouchers under this contract, if the Contracting Officer determines that the Contractor has failed to correct the

L0:material weaknesses identified in the Contractor's notification, the Contracting Officer will reinstate or increase

L0:withholding from progress payments and performance-based payments, and direct the Contractor, in writing, to reinstate or

L0:increase the percentage withheld on interim cost vouchers to the percentage initially withheld, until the Contracting Officer

L0:determines that the Contractor has corrected all material weaknesses as directed by the Contracting Officer's final

L0:determination.

L0:(End of clause)

252.242-7006 Accounting System Administration

Status: active

L0:252.242-7006 Accounting System Administration.

L0:As prescribed in 242.7503 , use the following clause:

L0:ACCOUNTING SYSTEM ADMINISTRATION (JAN 2025)

L1:(a) Definitions. As used in this clause?

L0:Acceptable accounting system? means a system that complies with the system criteria in paragraph (c) of this clause to

L0:provide reasonable assurance that?

L1:(1) Applicable laws and regulations are complied with;

L1:(2) The accounting system and cost data are reliable;

L1:(3) Risk of misallocations and mischarges are minimized; and

L1:(4) Contract allocations and charges are consistent with billing procedures.

L0:Accounting system? means the Contractor?s system or systems for accounting methods, procedures, and controls established to gather, record, classify, analyze, summarize, interpret, and present accurate and timely financial data for

L0:reporting in compliance with applicable laws, regulations, and management decisions, and may include subsystems for

L0:specific areas such as indirect and other direct costs, compensation, billing, labor, and general information technology.

L0:Material weakness means a deficiency or combination of deficiencies in the internal control over information in contractor

L0:business systems, such that there is a reasonable possibility that a material misstatement of such information will not be

L0:prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event

L0:occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L1:(b) General. The Contractor shall establish and maintain an acceptable accounting system. Failure to maintain an

L0:acceptable accounting system, as defined in this clause, shall result in the withholding of payments if the contract includes

L0:the clause at 252.242-7005 , Contractor Business Systems, and also may result in disapproval of the system.

L1:(c) System criteria. The Contractor?s accounting system shall provide for?

L1:(1) A sound internal control environment, accounting framework, and organizational structure;

L1:(2) Proper segregation of direct costs from indirect costs;

L1:(3) Identification and accumulation of direct costs by contract;

L1:(4) A logical and consistent method for the accumulation and allocation of indirect costs to intermediate and final cost

L0:objectives;

L1:(5) Accumulation of costs under general ledger control;

L1:(6) Reconciliation of subsidiary cost ledgers and cost objectives to general ledger;

L1:(7) Approval and documentation of adjusting entries;

L1:(8) Management reviews or internal audits of the system to ensure compliance with the Contractor?s established policies,

L0:procedures, and accounting practices;

L1:(9) A timekeeping system that identifies employees? labor by intermediate or final cost objectives;

L1:(10) A labor distribution system that charges direct and indirect labor to the appropriate cost objectives;

L1:(11) Interim (at least monthly) determination of costs charged to a contract through routine posting of books of account;

L1:(12) Exclusion from costs charged to Government contracts of amounts which are not allowable in terms of Federal

L0:Acquisition Regulation (FAR) part 31, Contract Cost Principles and Procedures, and other contract provisions;

L1:(13) Identification of costs by contract line item and by units (as if each unit or line item were a separate contract), if

L0:required by the contract;

L1:(14) Segregation of preproduction costs from production costs, as applicable;

L1:(15) Cost accounting information, as required?

L1:(i) By contract clauses concerning limitation of cost (FAR 52.232-20), limitation of funds (FAR 52.232-22), or allowable

L0:cost and payment (FAR 52.216-7); and

L1:(ii) To readily calculate indirect cost rates from the books of accounts;

L1:(16) Billings that can be reconciled to the cost accounts for both current and cumulative amounts claimed and comply with

L0:contract terms;

L1:(17) Adequate, reliable data for use in pricing follow-on acquisitions; and

L1:(18) Accounting practices in accordance with standards promulgated by the Cost Accounting Standards Board, if

L0:applicable, otherwise, Generally Accepted Accounting Principles.

L1:(d) Material weaknesses .

L1:(1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any material weaknesses.

L0:The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand

L0:the weakness or deficiency.

L1:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that

L0:identifies material weaknesses in the Contractor?s accounting system. If the Contractor disagrees with the initial

L0:determination, the Contractor shall state, in writing, its rationale for disagreeing.

L1:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting

L0:Officer?s final determination concerning?

L1:(i) Remaining material weaknesses;

L1:(ii) The adequacy of any proposed or completed corrective action; and

L1:(iii) System disapproval, if the Contracting Officer determines that one or more material weaknesses remain.

L1:(e) If the Contractor receives the Contracting Officer?s final determination of material weaknesses, the Contractor shall,

L0:within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable

L0:corrective action plan showing milestones and actions to eliminate the material weaknesses.

L1:(f) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor?s accounting

L0:system, and the contract includes the clause at 252.242-7005 , Contractor Business Systems, the Contracting Officer will

L0:withhold payments in accordance with that clause.

L0:(End of clause)

252.243-7001 Pricing of Contract Modifications

Status: active

L0:252.243-7001 Pricing of Contract Modifications.

L0:As prescribed in 243.205-70 , use the following clause:

L0:PRICING OF CONTRACT MODIFICATIONS (DEC 1991)

L0:When costs are a factor in any price adjustment under this contract, the contract cost principles and procedures in FAR Part

L0:31 and DFARS Part 231, in effect on the date of this contract, apply.

L0:(End of clause)

252.243-7002 Requests for Equitable Adjustment

Status: active

L0:252.243-7002 Requests for Equitable Adjustment.

L0:As prescribed in 243.205-71 , use the following clause:

L0:REQUESTS FOR EQUITABLE ADJUSTMENT (DEC 2022)

L1:(a) The amount of any request for equitable adjustment to contract terms shall accurately reflect the contract adjustment for

L0:which the Contractor believes the Government is liable. The request shall include only costs for performing the change,

L0:and shall not include any costs that already have been reimbursed or that have been separately claimed. All indirect costs

L0:included in the request shall be properly allocable to the change in accordance with applicable acquisition regulations.

L1:(b) In accordance with 10 U.S.C. 3862(a), any request for equitable adjustment to contract terms that exceeds the

L0:simplified acquisition threshold shall bear, at the time of submission, the following certificate executed by an individual

L0:authorized to certify the request on behalf of the Contractor:

L0:I certify that the request is made in good faith, and that

L0:the supporting data are accurate and complete to the

L0:best of my knowledge and belief.

L0:(Official's Name)

L1:(Title)

L1:(c) The certification in paragraph (b) of this clause requires full disclosure of all relevant facts, including?

L1:(1) Certified cost or pricing data, if required, in accordance with subsection 15.403-4 of the Federal Acquisition Regulation

L1:(FAR); and

L1:(2) Data other than certified cost or pricing data, in accordance with subsection 215.403-5 of the FAR, including actual cost

L0:data and data to support any estimated costs, even if certified cost or pricing data are not required.

L1:(d) The certification requirement in paragraph (b) of this clause does not apply to?

L1:(1) Requests for routine contract payments; for example, requests for payment for accepted supplies and services, routine

L0:vouchers under a cost-reimbursement type contract, or progress payment invoices; or

L1:(2) Final adjustments under an incentive provision of the contract.

L0:(End of clause)

252.244-7000 Subcontracts for Commercial Products or Commercial Services

Status: active

L0:252.244-7000 Subcontracts for Commercial Products or Commercial Services.

L0:As prescribed in 244.403 , use the following clause:

L0:SUBCONTRACTS FOR COMMERCIAL PRODUCTS OR COMMERCIAL SERVICES (NOV 2023)

L1:(a) The Contractor shall not include the terms of any Federal Acquisition Regulation (FAR) clause or Defense Federal

L0:Acquisition Regulation Supplement (DFARS) clause in subcontracts for commercial products or commercial services at

L0:any tier under this contract, unless

L1:(1) For DFARS clauses, it is so specified in the particular clause; or

L1:(2) For FAR clauses, the clause is listed at FAR 12.301(d) or it is so specified in paragraph (e)(1) of the clause at FAR

L0:52.212-5 or paragraph (b)(1) of the clause at FAR 52.244-6, as applicable. (Section 847(b)(1)(B), Pub. L. 114-328)

L0:(b)(1) In accordance with 10 U.S.C. 3457(c), the Contractor shall treat as commercial products any items valued at less

L0:than \$10,000 per item that were purchased by the Contractor for use in the performance of multiple contracts with the

L0:Department of Defense and other parties and are not identifiable to any particular contract when purchased.

L1:(2) The Contractor shall ensure that any items to be used in performance of this contract, that are treated as commercial

L0:products pursuant to paragraph (b)(1) of this clause, meet all terms and conditions of this contract that are applicable to

L0:commercial products or commercial services in accordance with the clause at FAR 52.244-6 and paragraph (a) of this

L0:clause.

L0:(c) Subcontracts. The Contractor shall include the terms of this clause, including this paragraph (c), in subcontracts

L0:awarded under this contract, including subcontracts for the acquisition of commercial products or commercial services.

L0:(End of clause)

252.244-7001 Contractor Purchasing System Administration

Status: active

L0:252.244-7001 Contractor Purchasing System Administration.

L0:Basic. As prescribed in 244.305-71 and 244.305-71 (a), use the following clause:

L0:CONTRACTOR PURCHASING SYSTEM ADMINISTRATION-BASIC (JAN 2025)

L1:(a) Definitions. As used in this clause?

L0:Acceptable purchasing system? means a purchasing system that complies with the system criteria in paragraph (c) of this

L0:clause.

L0:[Material weakness means a deficiency or combination of deficiencies in the internal control over information in

contractor

L0:business systems, such that there is a reasonable possibility that a material misstatement of such information will not be

L0:prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event

L0:occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L0:?"Purchasing system?" means the Contractor?s system or systems for purchasing and subcontracting, including make-or-buy

L0:decisions, the selection of vendors, analysis of quoted prices, negotiation of prices with vendors, placing and administering

L0:of orders, and expediting delivery of materials.

L1:(b) General. The Contractor shall establish and maintain an acceptable purchasing system. Failure to maintain an

L0:acceptable purchasing system, as defined in this clause, may result in disapproval of the system by the Contracting Officer

L0:and/or withholding of payments.

L1:(c) System criteria. The Contractor?s purchasing system shall?

L1:(1) Have an adequate system description including policies, procedures, and purchasing practices that comply with the

L0:Federal Acquisition Regulation (FAR) and the Defense Federal Acquisition Regulation Supplement (DFARS);

L1:(2) Ensure that all applicable purchase orders and subcontracts contain all flowdown clauses, including terms and

L0:conditions and any other clauses needed to carry out the requirements of the prime contract;

L1:(3) Maintain an organization plan that establishes clear lines of authority and responsibility;

L1:(4) Ensure all purchase orders are based on authorized requisitions and include a complete and accurate history of purchase

L0:transactions to support vendor selected, price paid, and document the subcontract/purchase order files which are subject to

L0:Government review;

L1:(5) Establish and maintain adequate documentation to provide a complete and accurate history of purchase transactions to

L0:support vendors selected and prices paid;

L1:(6) Apply a consistent make-or-buy policy that is in the best interest of the Government;

L1:(7) Use competitive sourcing to the maximum extent practicable, and ensure debarred or suspended contractors are

L0:properly excluded from contract award;

L1:(8) Evaluate price, quality, delivery, technical capabilities, and financial capabilities of competing vendors to ensure fair

L0:and reasonable prices;

L1:(9) Require management level justification and adequate cost or price analysis, as applicable, for any sole or single source

L0:award;

L1:(10) Perform timely and adequate cost or price analysis and technical evaluation for each subcontractor and supplier

L0:proposal or quote to ensure fair and reasonable subcontract prices;

L1:(11) Document negotiations in accordance with FAR 15.406-3;

L1:(12) Seek, take, and document economically feasible purchase discounts, including cash discounts, trade discounts,

L0:quantity discounts, rebates, freight allowances, and company-wide volume discounts;
L1:(13) Ensure proper type of contract selection and prohibit issuance of cost-plus-a-percentage-of-cost subcontracts;
L1:(14) Maintain subcontract surveillance to ensure timely delivery of an acceptable product and procedures to notify the
L0:Government of potential subcontract problems that may impact delivery, quantity, or price;
L1:(15) Document and justify reasons for subcontract changes that affect cost or price;
L1:(16) Notify the Government of the award of all subcontracts that contain the FAR and DFARS flowdown clauses that allow
L0:for Government audit of those subcontracts, and ensure the performance of audits of those subcontracts;
L1:(17) Enforce adequate policies on conflict of interest, gifts, and gratuities, including the requirements of 41 U.S.C. chapter
L0:87, Kickbacks;
L1:(18) Perform internal audits or management reviews, training, and maintain policies and procedures for the purchasing
L0:department to ensure the integrity of the purchasing system;
L1:(19) Establish and maintain policies and procedures to ensure purchase orders and subcontracts contain mandatory and
L0:applicable flowdown clauses, as required by the FAR and DFARS, including terms and conditions required by the prime
L0:contract and any clauses required to carry out the requirements of the prime contract, including the requirements of

252.246-7007 Contractor Counterfeit Electronic Part Detection and Avoidance System

Status: active

L0:252.246-7007 Contractor Counterfeit Electronic Part Detection and Avoidance System.
L0:As prescribed in 246.870-3 (a), use the following clause:
L0:CONTRACTOR COUNTERFEIT ELECTRONIC PART DETECTION AND AVOIDANCE SYSTEM (JAN 2023)
L0:The following paragraphs (a) through (e) of this clause do not apply unless the Contractor is subject to the Cost Accounting
L0:Standards under 41 U.S.C. chapter 15, as implemented in regulations found at 48 CFR 9903.201-1.
L1:(a) Definitions. As used in this clause?
L0:?"Authorized aftermarket manufacturer?" means an organization that fabricates a part under a contract with, or with the
L0:express written authority of, the original component manufacturer based on the original component manufacturer?s designs,
L0:formulas, and/or specifications.
L0:?"Authorized supplier?" means a supplier, distributor, or an aftermarket manufacturer with a contractual arrangement with, or
L0:the express written authority of, the original manufacturer or current design activity to buy, stock, repackage, sell, or
L0:distribute the part.
L0:?"Contract manufacturer?" means a company that produces goods under contract for another company under the label or
L0:brand name of that company.
L0:?"Contractor-approved supplier?" means a supplier that does not have a contractual agreement with the original

component

L0:manufacturer for a transaction, but has been identified as trustworthy by a contractor or subcontractor.

L0:Counterfeit electronic part? means an unlawful or unauthorized reproduction, substitution, or alteration that has been

L0:knowingly mismarked, misidentified, or otherwise misrepresented to be an authentic, unmodified electronic part from the

L0:original manufacturer, or a source with the express written authority of the original manufacturer or current design activity,

L0:including an authorized aftermarket manufacturer. Unlawful or unauthorized substitution includes used electronic parts

L0:represented as new, or the false identification of grade, serial number, lot number, date code, or performance

L0:characteristics.

L0:Electronic part? means an integrated circuit, a discrete electronic component (including, but not limited to, a transistor,

L0:capacitor, resistor, or diode), or a circuit assembly (section 818(f)(2) of Pub. L. 112-81).

L0:Obsolete electronic part? means an electronic part that is no longer available from the original manufacturer or an

L0:authorized aftermarket manufacturer.

L0:"Original component manufacturer" means an organization that designs and/or engineers a part and is entitled to any

L0:intellectual property rights to that part.

L0:Original equipment manufacturer? means a company that manufactures products that it has designed from purchased

L0:components and sells those products under the company's brand name.

L0:Original manufacturer? means the original component manufacturer, the original equipment manufacturer, or the contract

L0:manufacturer.

L0:Suspect counterfeit electronic part? means an electronic part for which credible evidence (including, but not limited to,

L0:visual inspection or testing) provides reasonable doubt that the electronic part is authentic.

L1:(b) Acceptable counterfeit electronic part detection and avoidance system.The Contractor shall establish and maintain an

L0:acceptable counterfeit electronic part detection and avoidance system. Failure to maintain an acceptable counterfeit

L0:electronic part detection and avoidance system, as defined in this clause, may result in disapproval of the purchasing

L0:system by the Contracting Officer and/or withholding of payments and affect the allowability of costs of counterfeit

L0:electronic parts or suspect counterfeit electronic parts and the cost of rework or corrective action that may be required to

L0:remedy the use or inclusion of such parts (see DFARS 231.205-71).

L1:(c) System criteria. A counterfeit electronic part detection and avoidance system shall include risk-based policies and

L0:procedures that address, at a minimum, the following areas:

L1:(1) The training of personnel.

L1:(2) The inspection and testing of electronic parts, including criteria for acceptance and rejection. Tests and inspections shall

L0:be performed in accordance with accepted Government- and industry-recognized techniques. Selection of tests and

L0:inspections shall be based on minimizing risk to the Government. Determination of risk shall be based on the assessed

L0:probability of receiving a counterfeit electronic part; the probability that the inspection or test selected will detect a L0:counterfeit electronic part; and the potential negative consequences of a counterfeit electronic part being installed (e.g.,

L0:human safety, mission success) where such consequences are made known to the Contractor.

L1:(3) Processes to abolish counterfeit parts proliferation.

L1:(4) Risk-based processes that enable tracking of electronic parts from the original manufacturer to product acceptance by

L0:the Government, whether the electronic parts are supplied as discrete electronic parts or are contained in assemblies, in

L0:accordance with paragraph (c) of the clause at 252.246-7008 , Sources of Electronic Parts (also see paragraph (c)(2) of this

L0:clause).

L1:(5) Use of suppliers in accordance with the clause at 252.246-7008 .

L1:(6) Reporting and quarantining of counterfeit electronic parts and suspect counterfeit electronic parts. Reporting is required

L0:to the Contracting Officer and to the Government-Industry Data Exchange Program (GIDEP) when the Contractor becomes

L0:aware of, or has reason to suspect that, any electronic part or end item, component, part, or assembly containing electronic

L0:parts purchased by the DoD, or purchased by a Contractor for delivery to, or on behalf of, the DoD, contains counterfeit

L0:electronic parts or suspect counterfeit electronic parts. Counterfeit electronic parts and suspect counterfeit electronic parts

L0:shall not be returned to the seller or otherwise returned to the supply chain until such time that the parts are determined to

L0:be authentic.

L1:(7) Methodologies to identify suspect counterfeit parts and to rapidly determine if a suspect counterfeit part is, in fact,

L0:counterfeit.

L1:(8) Design, operation, and maintenance of systems to detect and avoid counterfeit electronic parts and suspect counterfeit

L0:electronic parts. The Contractor may elect to use current Government- or industry-recognized standards to meet this L0:requirement.

L1:(9) Flow down of counterfeit detection and avoidance requirements, including applicable system criteria provided herein,

L0:to subcontractors at all levels in the supply chain that are responsible for buying or selling electronic parts or assemblies

L0:containing electronic parts, or for performing authentication testing.

L1:(10) Process for keeping continually informed of current counterfeiting information and trends, including detection and

L0:avoidance techniques contained in appropriate industry standards, and using such information and techniques for

L0:continuously upgrading internal processes.

L1:(11) Process for screening GIDEP reports and other credible sources of counterfeiting information to avoid the

purchase or

L0:use of counterfeit electronic parts.

L1:(12) Control of obsolete electronic parts in order to maximize the availability and use of authentic, originally designed, and

L0:qualified electronic parts throughout the product's life cycle.

L1:(d) Government review and evaluation of the Contractor's policies and procedures will be accomplished as part of the

L0:evaluation of the Contractor's purchasing system in accordance with 252.244-7001 , Contractor Purchasing System

L0:Administration?Basic, or Contractor Purchasing System Administration?Alternate I.

L1:(e) Subcontracts. The Contractor shall include the substance of this clause, excluding the introductory text and including

L0:only paragraphs (a) through (e), in subcontracts, including subcontracts for commercial products, for electronic parts or

L0:assemblies containing electronic parts.

L0:(End of clause)

252.245-7000 Government-Furnished Mapping, Charting, and Geodesy Property

Status: active

L0:252.245-7000 Government-Furnished Mapping, Charting, and Geodesy Property.

L0:As prescribed in 245.107 (2), use the following clause:

L0:GOVERNMENT-FURNISHED MAPPING, CHARTING, AND GEODESY PROPERTY (APR 2012)

L1:(a) Definition. "Mapping, charting, and geodesy (MC&G) property" means geodetic, geomagnetic, gravimetric,

L0:aeronautical, topographic, hydrographic, cultural, and toponymic data presented in the form of topographic, planimetric,

L0:relief, or thematic maps and graphics; nautical and aeronautical charts and publications; and in simulated, photographic,

L0:digital, or computerized formats.

L1:(b) The Contractor shall not duplicate, copy, or otherwise reproduce MC&G property for purposes other than those

L0:necessary for performance of the contract.

L1:(c) At the completion of performance of the contract, the Contractor, as directed by the Contracting Officer, shall either

L0:destroy or return to the Government all Government-furnished MC&G property not consumed in the performance of this

L0:contract.

L0:(End of clause)

252.245-7003 Contractor Property Management System Administration

Status: active

L0:252.245-7003 Contractor Property Management System Administration.

L0:As prescribed in 245.107 (3), insert the following clause:

L0:CONTRACTOR PROPERTY MANAGEMENT SYSTEM ADMINISTRATION (JAN 2025)

L1:(a) Definitions. As used in this clause?

L0:?'Acceptable property management system?' means a property system that complies with the system criteria in paragraph (c)

L0:of this clause.

L0:?'Material weakness?' means a deficiency or combination of deficiencies in the internal control over information in

L0:contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will

L0:not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an

L0:event occurring is?

L1:(1) Probable; or

L1:(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

L0:?'Property management system?' means the Contractor?s system or systems for managing and controlling Government

L0:property.

L1:(b) General. The Contractor shall establish and maintain an acceptable property management system. Failure to maintain

L0:an acceptable property management system, as defined in this clause, may result in disapproval of the system by the

L0:Contracting Officer and/or withholding of payments.

L1:(c) System criteria. The Contractor?s property management system shall be in accordance with paragraphs (b) and (f) of the

L0:contract clause at Federal Acquisition Regulation 52.245-1.

L1:(d) Material weaknesses .

L1:(1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any material weaknesses.

L0:The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand

L0:the weaknesses or deficiency.

L1:(2) The Contractor shall respond within 30 days to a written initial determination from the Contracting Officer that

L0:identifies material weaknesses in the Contractor?s property management system. If the Contractor disagrees with the initial

L0:determination, the Contractor shall state, in writing, its rationale for disagreeing.

L1:(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting

L0:Officer?s final determination concerning?

L1:(i) Remaining material weaknesses;

L1:(ii) The adequacy of any proposed or completed corrective action; and

L1:(iii) System disapproval, if the Contracting Officer determines that one or more material weaknesses remain.

L1:(e) If the Contractor receives the Contracting Officer?s final determination of material weaknesses, the Contractor shall,

L0:within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable

L0:corrective action plan showing milestones and actions to eliminate the material weaknesses.

L1:(f) Withholding payments. If the Contracting Officer makes a final determination to disapprove the Contractor?s property

L0:management system, and the contract includes the clause at 252.242-7005 , Contractor Business Systems, the Contracting

L0:Officer will withhold payments in accordance with that clause.

L0:(End of clause)

252.245-7005 Management and Reporting of Government Property

Status: active

L0:252.245-7005 Management and Reporting of Government Property.

L0:As prescribed in 245.107 Contract clauses.(4), use the following clause:

L0:MANAGEMENT AND REPORTING OF GOVERNMENT PROPERTY (JAN 2024)

L1:(a) Definitions. As used in this clause?

L0:?As is? means that the Government makes no warranty with respect to the serviceability and/or suitability of the

L0:Government property for contract performance and that the Government will not pay for any repairs, replacement, and/or

L0:refurbishment of the property.

L0:?Commercial and Government Entity (CAGE) code? means?

L1:(1) An identifier assigned to entities located in the United States or its outlying areas by the Defense Logistics Agency

L1:(DLA) Commercial and Government Entity (CAGE) Branch to identify a commercial or government entity by unique

L0:location; or

L1:(2) An identifier assigned by a member of the North Atlantic Treaty Organization (NATO) or by the NATO Support and

L0:Procurement Agency (NSPA) to entities located outside the United States and its outlying areas that the DLA Commercial

L0:and Government Entity (CAGE) Branch records and maintains in the CAGE master file. This type of code is known as a

L0:NATO CAGE (NCAGE) code.

L0:?Contractor-acquired property,? ?contractor inventory,? ?Government property,? ?Government-furnished property,? and

L0:?loss of Government property? have the meanings given in the Federal Acquisition Regulation (FAR) 52.245-1,

L0:Government Property, clause of this contract.

L0:?Demilitarization? means the act of eliminating the functional capabilities and inherent military design features from DoD

L0:personal property. Methods and degree range from removal and destruction of critical features to total destruction by

L0:cutting, tearing, crushing, mangling, shredding, melting, burning, etc.

L0:?Export-controlled items? has the meaning given in the Defense Federal Acquisition Regulation Supplement (DFARS)

252.246-7001 Warranty of Data

Status: active

L0:252.246-7001 Warranty of Data.

L0:Basic. As prescribed in 246.710 (1) and (1)(i), use the following clause:

L0:WARRANTY OF DATA?BASIC (MAR 2014)

L1:(a) Definition.?Technical data? has the same meaning as given in the clause in this contract entitled Rights in Technical

L0:Data and Computer Software.

L1:(b) Warranty.Notwithstanding inspection and acceptance by the Government of technical data furnished under this L0:contract, and notwithstanding any provision of this contract concerning the conclusiveness of acceptance, the Contractor

L0:warrants that all technical data delivered under this contract will at the time of delivery conform with the specifications and

L0:all other requirements of this contract. The warranty period shall extend for three years after completion of the delivery of

L0:the line item of data (as identified in DD Form 1423, Contract Data Requirements List) of which the data forms a part; or

L0:any longer period specified in the contract.

L1:(c) Contractor Notification.The Contractor agrees to notify the Contracting Officer in writing immediately of any breach of

L0:the above warranty which the Contractor discovers within the warranty period.

L1:(d) Remedies.The following remedies shall apply to all breaches of the warranty, whether the Contractor notifies the L0:Contracting Officer in accordance with paragraph (c) of this clause or if the Government notifies the Contractor of the L0:breach in writing within the warranty period:

L1:(1) Within a reasonable time after such notification, the Contracting Officer may?

L1:(i) By written notice, direct the Contractor to correct or replace at the Contractor's expense the nonconforming technical

L0:data promptly; or

L1:(ii) If the Contracting Officer determines that the Government no longer has a requirement for correction or replacement of

L0:the data, or that the data can be more reasonably corrected by the Government, inform the Contractor by written notice that

L0:the Government elects a price or fee adjustment instead of correction or replacement.

L1:(2) If the Contractor refuses or fails to comply with a direction under paragraph (d)(1)(i) of this clause, the Contracting

L0:Officer may, within a reasonable time of the refusal or failure?

L1:(i) By contract or otherwise, correct or replace the nonconforming technical data and charge the cost to the Contractor; or

L1:(ii) Elect a price or fee adjustment instead of correction or replacement.

L1:(3) The remedies in this clause represent the only way to enforce the Government's rights under this clause.

L1:(e) The provisions of this clause apply anew to that portion of any corrected or replaced technical data furnished to the

L0:Government under paragraph (d)(1)(i) of this clause.

L0:(End of clause)

L0:Alternate I. As prescribed in 246.710 (1) and (1)(ii), use the following clause, which uses a different paragraph (d)(3) than

L0:the basic clause:

L0:WARRANTY OF DATA?ALTERNATE I (MAR 2014)

L1:(a) Definition. Technical data has the same meaning as given in the clause in this contract entitled Rights in Technical

L0:Data and Computer Software.

L1:(b) Warranty. Notwithstanding inspection and acceptance by the Government of technical data furnished under this L0:contract, and notwithstanding any provision of this contract concerning the conclusiveness of acceptance, the Contractor

L0:warrants that all technical data delivered under this contract will at the time of delivery conform with the specifications and

L0:all other requirements of this contract. The warranty period shall extend for three years after completion of the delivery of

L0:the line item of data (as identified in DD Form 1423, Contract Data Requirements List) of which the data forms a part; or

L0:any longer period specified in the contract.

L1:(c) Contractor Notification. The Contractor agrees to notify the Contracting Officer in writing immediately of any breach of

L0:the above warranty which the Contractor discovers within the warranty period.

L1:(d) Remedies. The following remedies shall apply to all breaches of the warranty, whether the Contractor notifies the L0:Contracting Officer in accordance with paragraph (c) of this clause or if the Government notifies the Contractor of the L0:breach in writing within the warranty period:

L1:(1) Within a reasonable time after such notification, the Contracting Officer may?

L1:(i) By written notice, direct the Contractor to correct or replace at the Contractor's expense the nonconforming technical

L0:data promptly; or

L1:(ii) If the Contracting Officer determines that the Government no longer has a requirement for correction or replacement of

L0:the data, or that the data can be more reasonably corrected by the Government, inform the Contractor by written notice that

L0:the Government elects a price or fee adjustment instead of correction or replacement.

L1:(2) If the Contractor refuses or fails to comply with a direction under paragraph (d)(1)(i) of this clause, the Contracting

L0:Officer may, within a reasonable time of the refusal or failure?

L1:(i) By contract or otherwise, correct or replace the nonconforming technical data and charge the cost to the Contractor; or

L1:(ii) Elect a price or fee adjustment instead of correction or replacement.

L1:(3) In addition to the remedies under paragraphs (d)(1) and (2) of this clause, the Contractor shall be liable to the L0:Government for all damages to the Government as a result of the breach of warranty.

L1:(i) The additional liability under paragraph (d)(3) of this clause shall not exceed 75 percent of the target profit.

L1:(ii) If the breach of the warranty is with respect to the data supplied by an equipment subcontractor, the limit of the L0:Contractor's liability shall be?

L1:(A) Ten percent of the total subcontract price in a firm-fixed-price subcontract;

L1:(B) Seventy-five percent of the total subcontract fee in a cost-plus-fixed-fee or cost-plus-award-fee subcontract; or

L1:(C) Seventy-five percent of the total subcontract target profit or fee in a fixed-price-incentive or cost-plus-incentive L0:subcontract.

L1:(iii) Damages due the Government under the provisions of this warranty are not an allowable cost.

L1:(iv) The additional liability in paragraph (d)(3) of this clause shall not apply?

L1:(A) With respect to the requirements for product drawings and associated lists, special inspection equipment (SIE)

L0:drawings and associated lists, special tooling drawings and associated lists, SIE operating instructions, SIE descriptive

L0:documentation, and SIE calibration procedures under MIL-T-31000, General Specification for Technical Data Packages,

L0:Amendment 1, or MIL-T-47500, General Specification for Technical Data Packages, Supp 1, or drawings and associated

L0:lists under level 2 or level 3 of MIL-D-1000A, Engineering and Associated Data Drawings, or DoD-D-1000B, Engineering

L0:and Associated Lists Drawings (Inactive for New Design) Amendment 4, Notice 1; or drawings and associated lists under

L0:category E or I of MIL-D-1000, Engineering and Associated Lists Drawings, provided that the data furnished by the

L0:Contractor was current, accurate at time of submission, and did not involve a significant omission of data necessary to

L0:comply with the requirements; or

L1:(B) To defects the Contractor discovers and gives written notice to the Government before the Government discovers the

L0:error.

L1:(e) The provisions of this clause apply anew to that portion of any corrected or replaced technical data furnished to the

L0:Government under paragraph (d)(1)(i) of this clause.

L0:(End of clause)

L0:Alternate II. As prescribed in 246.710 (1) and (1)(iii), use the following clause, which uses a different paragraph (d)(3) than

L0:the basic clause:

L0:WARRANTY OF DATA?ALTERNATE II (MAR 2014)

L1:(a) Definition.?Technical data? has the same meaning as given in the clause in this contract entitled ?Rights in Technical

L0:Data and Computer Software.?

L1:(b) Warranty.Notwithstanding inspection and acceptance by the Government of technical data furnished under this

L0:contract, and notwithstanding any provision of this contract concerning the conclusiveness of acceptance, the Contractor

L0:warrants that all technical data delivered under this contract will at the time of delivery conform with the specifications and

L0:all other requirements of this contract. The warranty period shall extend for three years after completion of the delivery of

L0:the line item of data (as identified in DD Form 1423, Contract Data Requirements List) of which the data forms a part; or

L0:any longer period specified in the contract.

L1:(c) Contractor Notification.The Contractor agrees to notify the Contracting Officer in writing immediately of any breach of

L0:the above warranty which the Contractor discovers within the warranty period.

L1:(d) Remedies.The following remedies shall apply to all breaches of the warranty, whether the Contractor notifies the

L0:Contracting Officer in accordance with paragraph (c) of this clause or if the Government notifies the Contractor of the

L0:breach in writing within the warranty period:

L1:(1) Within a reasonable time after such notification, the Contracting Officer may?

L1:(i) By written notice, direct the Contractor to correct or replace at the Contractor's expense the nonconforming technical

L0:data promptly; or

L1:(ii) If the Contracting Officer determines that the Government no longer has a requirement for correction or replacement of

L0:the data, or that the data can be more reasonably corrected by the Government, inform the Contractor by written notice that

L0:the Government elects a price or fee adjustment instead of correction or replacement.

L1:(2) If the Contractor refuses or fails to comply with a direction under paragraph (d)(1)(i) of this clause, the Contracting

L0:Officer may, within a reasonable time of the refusal or failure?

L1:(i) By contract or otherwise, correct or replace the nonconforming technical data and charge the cost to the Contractor; or

L1:(ii) Elect a price or fee adjustment instead of correction or replacement.

L1:(3) In addition to the remedies under paragraphs (d)(1) and (2) of this clause, the Contractor shall be liable to the

L0:Government for all damages to the Government as a result of the breach of the warranty.

L1:(i) The additional liability under paragraph (d)(3) of this clause shall not exceed ten percent of the total contract price.

L1:(ii) If the breach of the warranty is with respect to the data supplied by an equipment subcontractor, the limit of the

L0:Contractor's liability shall be?

L1:(A) Ten percent of the total subcontract price in a firm-fixed-price subcontract;

L1:(B) Seventy-five percent of the total subcontract fee in a cost-plus-fixed-fee or cost-plus-award-fee subcontract; or

L1:(C) Seventy-five percent of the total subcontract target profit or fee in a fixed-price-incentive or cost-plus-incentive

L0:subcontract.

L1:(iii) The additional liability specified in paragraph (d)(3) of this clause shall not apply?

L1:(A) With respect to the requirements for product drawings and associated lists, special inspection equipment (SIE)

L0:drawings and associated lists, special tooling drawings and associated lists, SIE operating instructions, SIE descriptive

L0:documentation, and SIE calibration procedures under MIL-T-31000, General Specification for Technical Data Packages,

L0:Amendment 1, or MIL-T-47500, General Specification for Technical Data Packages, Supp 1, or drawings and associated

L0:lists under level 2 or level 3 of MIL-D-1000A, Engineering and Associated Data Drawings, or DoD-D-1000B, Engineering

L0:and Associated Lists Drawings (Inactive for New Design) Amendment 4, Notice 1; or drawings and associated lists under

L0:category E or I of MIL-D-1000, Engineering and Associated Lists Drawings, provided that the data furnished by the

L0:Contractor was current, accurate at time of submission, and did not involve a significant omission of data necessary to

L0:comply with the requirements; or

L1:(B) To defects the Contractor discovers and gives written notice to the Government before the Government discovers the

L0:error.

L1:(e) The provisions of this clause apply anew to that portion of any corrected or replaced technical data furnished to

the

L0:Government under paragraph (d)(1)(i) of this clause.

L0:(End of clause)

252.246-7002 Warranty of Construction (Germany)

Status: active

L0:252.246-7002 Warranty of Construction (Germany).

L0:As prescribed in 246.710 (2), use the following clause:

L0:WARRANTY OF CONSTRUCTION (GERMANY) (JUN 1997)

L1:(a) In addition to any other representations in this contract, the Contractor warrants, except as provided in paragraph (j) of

L0:this clause, that the work performed under this contract conforms to the contract requirements and is free of any defect of

L0:equipment, material, or design furnished or workmanship performed by the Contractor or any subcontractor or supplier at

L0:any tier.

L1:(b) This warranty shall continue for the period(s) specified in Section 13, VOB, Part B, commencing from the date of final

L0:acceptance of the work under this contract. If the Government takes possession of any part of the work before final

L0:acceptance, this warranty shall continue for the period(s) specified in Section 13, VOB, Part B, from the date the

L0:Government takes possession.

L1:(c) The Contractor shall remedy, at the Contractor's expense, any failure to conform or any defect. In addition, the

L0:Contractor shall remedy, at the Contractor's expense, any damage to Government-owned or -controlled real or personal

L0:property when that damage is the result of?

L1:(1) The Contractor's failure to conform to contract requirements; or

L1:(2) Any defect of equipment, material, or design furnished or workmanship performed.

L1:(d) The Contractor shall restore any work damaged in fulfilling the terms and conditions of this clause.

L1:(e) The Contracting Officer shall notify the Contractor, in writing, within a reasonable period of time after the discovery of

L0:any failure, defect, or damage.

L1:(f) If the Contractor fails to remedy any failure, defect, or damage within a reasonable period of time after receipt of notice,

L0:the Government shall have the right to replace, repair, or otherwise remedy the failure, defect, or damage at the

L0:Contractor's expense.

L1:(g) With respect to all warranties, express or implied, from subcontractors, manufacturers, or suppliers for work performed

L0:and materials furnished under this contract, the Contractor shall?

L1:(1) Obtain all warranties that would be given in normal commercial practice;

L1:(2) Require all warranties to be executed in writing, for the benefit of the Government, if directed by the Contracting

L0:Officer; and

L1:(3) Enforce all warranties for the benefit of the Government as directed by the Contracting Officer.

L1:(h) In the event the Contractor's warranty under paragraph (b) of this clause has expired, the Government may

bring suit at

L0:its expense to enforce a subcontractor?s, manufacturer?s, or supplier?s warranty.

L1:(i) Unless a defect is caused by the Contractor?s negligence, or the negligence of a subcontractor or supplier at any tier, the

L0:Contractor shall not be liable for the repair of any defects of material or design furnished by the Government or for the

L0:repair of any damage resulting from any defect in Government-furnished material or design.

L1:(j) This warranty shall not limit the Government?s right under the Inspection clause of this contract, with respect to latent

L0:defects, gross mistakes, or fraud.

L0:(End of clause)

252.246-7003 Notification of Potential Safety Issues

Status: active

L0:252.246-7003 Notification of Potential Safety Issues.

L0:As prescribed in 246.370 (a), use the following clause:

L0:NOTIFICATION OF POTENTIAL SAFETY ISSUES (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:?Credible information? means information that, considering its source and the surrounding circumstances, supports a

L0:reasonable belief that an event has occurred or will occur.

L0:?Critical safety item? means a part, subassembly, assembly, subsystem, installation equipment, or support equipment for a

L0:system that contains a characteristic, any failure, malfunction, or absence of which could have a safety impact.

L0:?Safety impact? means the occurrence of death, permanent total disability, permanent partial disability, or injury or

L0:occupational illness requiring hospitalization; loss of a weapon system; or property damage exceeding \$1,000,000.

L0:?Subcontractor? means any supplier, distributor, vendor, or firm that furnishes supplies or services to or for the Contractor

L0:or another subcontractor under this contract.

L1:(b) The Contractor shall provide notification, in accordance with paragraph (c) of this clause, of?

L1:(1) All nonconformances for parts identified as critical safety items acquired by the Government under this contract; and

L1:(2) All nonconformances or deficiencies that may result in a safety impact for systems, or subsystems, assemblies,

L0:subassemblies, or parts integral to a system, acquired by or serviced for the Government under this contract.

L1:(c) The Contractor?

L1:(1) Shall notify the Administrative Contracting Officer (ACO) and the Procuring Contracting Officer (PCO) as soon as

L0:practicable, but not later than 72 hours, after discovering or acquiring credible information concerning nonconformances

L0:and deficiencies described in paragraph (b) of this clause; and

L1:(2) Shall provide a written notification to the ACO and the PCO within 5 working days that includes?

L1:(i) A summary of the defect or nonconformance;

L1:(ii) A chronology of pertinent events;

L1:(iii) The identification of potentially affected items to the extent known at the time of notification;

L1:(iv) A point of contact to coordinate problem analysis and resolution; and
 L1:(v) Any other relevant information.
 L1:(d) The Contractor?
 L1:(1) Is responsible for the notification of potential safety issues occurring with regard to an item furnished by any
 L0:subcontractor; and
 L1:(2) Shall facilitate direct communication between the Government and the subcontractor as necessary.
 L1:(e) Notification of safety issues under this clause shall be considered neither an admission of responsibility nor a
 release of
 L0:liability for the defect or its consequences. This clause does not affect any right of the Government or the Contractor
 L0:established elsewhere in this contract.
 L1:(f) Subcontracts. (1) The Contractor shall include the substance of this clause, including this paragraph (f), in
 subcontracts
 L0:for?
 L1:(i) Parts identified as critical safety items;
 L1:(ii) Systems and subsystems, assemblies, and subassemblies integral to a system; or
 L1:(iii) Repair, maintenance, logistics support, or overhaul services for systems and subsystems, assemblies,
 subassemblies,
 L0:and parts integral to a system.
 L1:(2) For those subcontracts, including subcontracts for commercial products or commercial services, described in
 paragraph
 L1:(f)(1) of this clause, the Contractor shall require the subcontractor to provide the notification required by paragraph
 (c) of
 L0:this clause to?
 L1:(i) The Contractor or higher-tier subcontractor; and
 L1:(ii) The ACO and the PCO, if the subcontractor is aware of the ACO and the PCO for the contract.
 L0:(End of clause)

252.246-7004 Safety of Facilities, Infrastructure, and Equipment for Military Operations

Status: active

L0:252.246-7004 Safety of Facilities, Infrastructure, and Equipment for Military Operations.
 L0:As prescribed in 246.270-4 , use the following clause:
 L0:SAFETY OF FACILITIES, INFRASTRUCTURE, AND EQUIPMENT FOR MILITARY OPERATIONS (OCT 2010)
 L1:(a) Definition. ?Discipline Working Group,? as used in this clause, means representatives from the DoD
 Components, as
 L0:defined in MIL-STD-3007F, who are responsible for the unification and maintenance of the Unified Facilities Criteria
 L1:(UFC) documents for a particular discipline area.
 L1:(b) The Contractor shall ensure, consistent with the requirements of the applicable inspection clause in this contract,
 that
 L0:the facilities, infrastructure, and equipment acquired, constructed, installed, repaired, maintained, or operated under
 this
 L0:contract comply with Unified Facilities Criteria (UFC) 1-200-01 for?
 L1:(1) Fire protection;
 L1:(2) Structural integrity;

L1:(3) Electrical systems;

L1:(4) Plumbing;

L1:(5) Water treatment;

L1:(6) Waste disposal; and

L1:(7) Telecommunications networks.

L1:(c) The Contractor may apply a standard equivalent to or more stringent than UFC 1-200-01 upon a written determination

L0:of the acceptability of the standard by the Contracting Officer with the concurrence of the relevant Discipline Working L0:Group.

L0:(End of clause)

252.246-7005 Notice of Warranty Tracking of Serialized Items

Status: active

L0:252.246-7005 Notice of Warranty Tracking of Serialized Items.

L0:As prescribed in 246.710 (3)(i), use the following provision:

L0:NOTICE OF WARRANTY TRACKING OF SERIALIZED ITEMS (MAR 2016)

L1:(a) Definitions. ?Duration,? ?enterprise?, ?enterprise identifier,? ?fixed expiration,? ?item type,? ?serialized item,? ?starting

L0:event,? ?unique item identifier,? ?usage,? ?warranty administrator,? ?warranty guarantor,? and ?warranty tracking? are

L0:defined in the clause at 252.246-7006 , Warranty Tracking of Serialized Items.

L1:(b) Reporting of data for warranty tracking and administration.

L1:(1) The Offeror shall provide the information required by the attachment entitled ?Warranty Tracking Information? on each

L0:contract line item number, subline item number, or exhibit line item number for warranted items with its offer. Information

L0:required in the warranty attachment for each warranted item shall include such information as duration, fixed expiration,

L0:item type, starting event, usage, warranty administrator enterprise identifier, and warranty guarantor enterprise identifier.

L1:(2) The successful offeror will be required to provide the following information no later than when the warranted items are

L0:presented for receipt and/or acceptance, in accordance with the clause at 252.246-7006 ?

L1:(A) The unique item identifier for each warranted item required by the attachment entitled ?Warranty Tracking L0:Information;? and

L1:(B) All information required by the attachment entitled ?Source of Repair Instructions? for each warranted item.

L1:(3) For additional information on warranty attachments, see the ?Warranty and Source of Repair? training and ?Warranty

L0:and Source of Repair Tracking User Guide? accessible on the Product Data Reporting and Evaluation Program (PDREP)

L0:website at https://www.pdrep.csd.disa.mil/pdrep_files/other/wsr.htm.

L0:(End of provision)

252.246-7006 Warranty Tracking of Serialized Items

Status: active

L0:252.246-7006 Warranty Tracking of Serialized Items.

L0:As prescribed in 246.710 (3)(ii), use the following clause:

L0:WARRANTY TRACKING OF SERIALIZED ITEMS (MAR 2016)

L1:(a) Definitions. As used in this clause?

L0:Duration? means the warranty period. This period may be a stated period of time, amount of usage, or the occurrence of a

L0:specified event, after formal acceptance of delivery, for the Government to assert a contractual right for the correction of

L0:defects.

L0:Enterprise? means the entity (e.g., a manufacturer or vendor) responsible for granting the warranty and/or assigning

L0:unique item identifiers to serialized warranty items.

L0:Enterprise identifier? means a code that is uniquely assigned to an enterprise by an issuing agency.

L0:First use? means the initial or first-time use of a product by the Government.

L0:Fixed expiration? means the date the warranty expires and the Contractor's obligation to provide for a remedy or corrective action ends.

L0:Installation? means the date a unit is inserted into a higher level assembly in order to make that assembly operational.

L0:Issuing agency? means an organization responsible for assigning a globally unique identifier to an enterprise, as indicated

L0:in the Register of Issuing Agency Codes for International Standards Organization/International Electrotechnical

L0:Commission, located at http://www.aimglobal.org/?Reg_Authority15459.

L0:Item type? means a coded representation of the description of the item being warranted, consisting of the codes C - component procured separate from end item, S - subassembly procured separate from end item or subassembly, E -

L0:embedded in component, subassembly or end item parent, and P - parent end item.

L0:Starting event? means the event or action that initiates the warranty, such as first use or upon installation.

L0:Serialized item? means each item produced is assigned a serial number that is unique among all the collective tangible

L0:items produced by the enterprise, or each item of a particular part, lot, or batch number is assigned a unique serial number

L0:within that part, lot, or batch number assignment within the enterprise identifier. The enterprise is responsible for ensuring

L0:unique serialization within the enterprise identifier or within the part, lot, or batch numbers, and that serial numbers, once

L0:assigned, are never used again.

L0:Unique item identifier? means a set of data elements marked on an item that is globally unique and unambiguous.

L0:Usage? means the quantity and an associated unit of measure that specifies the amount of a characteristic subject to the

L0:contractor's obligation to provide for remedy or corrective action, such as a number of miles, hours, or cycles.

L0:Warranty administrator? means the organization specified by the guarantor for managing the warranty.

L0:Warranty guarantor? means the enterprise that provides the warranty under the terms and conditions of a contract.

L0:Warranty repair source? means the organization specified by a warranty guarantor for receiving and managing

warranty

L0:items that are returned by a customer.

L0:Warranty tracking? means the ability to trace a warranted item from delivery through completion of the effectivity of the

L0:warranty.

L1:(b) Reporting of data for warranty tracking and administration.

L1:(1) The Contractor shall provide the information required by the attachment entitled Warranty Tracking Information? on

L0:each contract line item number, subline item number, or exhibit line item number for warranted items no later than the time

L0:of award. Information required in the warranty attachment shall include such information as duration, fixed expiration,

L0:item type, starting event, usage, warranty administrator enterprise identifier, and warranty guarantor enterprise identifier.

L1:(2) The Contractor shall provide the following information no later than when the warranted items are presented for receipt

L0:and/or acceptance?

L1:(A) The unique item identifier for each warranted item required by the attachment entitled Warranty Tracking

L0:Information;? and

L1:(B) The warranty repair source information and instructions for each warranted item required by the attachment entitled

L0:Source of Repair Instructions.?

L1:(3) The Contractor shall submit the data for warranty tracking to the Contracting Officer with a copy to the requiring

L0:activity and the Contracting Officer Representative.

L1:(4) For additional information on warranty attachments, see the Warranty and Source of Repair? training and Warranty

L0:and Source of Repair Tracking User Guide? accessible on the Product Data Reporting and Evaluation Program (PDREP)

L0:website at https://www.pdrep.csd.disa.mil/pdrep_files/other/wsr.htm.

L1:(c) Reservation of rights. The terms of this clause shall not be construed to limit the Government's rights or remedies under

L0:any other contract clause.

L0:(End of clause)

252.246-7008 Sources of Electronic Parts

Status: active

L0:252.246-7008 Sources of Electronic Parts.

L0:As prescribed in 246.870-3 (b), use the following clause:

L0:SOURCES OF ELECTRONIC PARTS (JAN 2023)

L1:(a) Definitions. As used in this clause?

L0:Authorized aftermarket manufacturer? means an organization that fabricates a part under a contract with, or with the

L0:express written authority of, the original component manufacturer based on the original component manufacturer's

designs,

L0:formulas, and/or specifications.

L0:?"Authorized supplier?" means a supplier, distributor, or an aftermarket manufacturer with a contractual arrangement with, or

L0:the express written authority of, the original manufacturer or current design activity to buy, stock, repackage, sell, or

L0:distribute the part.

L0:?"Contract manufacturer?" means a company that produces goods under contract for another company under the label or

L0:brand name of that company.

L0:?"Contractor-approved supplier?" means a supplier that does not have a contractual agreement with the original component

L0:manufacturer for a transaction, but has been identified as trustworthy by a contractor or subcontractor.

L0:?"Electronic part?" means an integrated circuit, a discrete electronic component (including, but not limited to, a transistor,

L0:capacitor, resistor, or diode), or a circuit assembly (section 818(f)(2) of Pub. L. 112-81).

L0:"Original component manufacturer" means an organization that designs and/or engineers a part and is entitled to any

L0:intellectual property rights to that part.

L0:?"Original equipment manufacturer?" means a company that manufactures products that it has designed from purchased

L0:components and sells those products under the company's brand name.

L0:?"Original manufacturer?" means the original component manufacturer, the original equipment manufacturer, or the contract

L0:manufacturer.

L1:(b) Selecting suppliers. In accordance with section 818(c)(3) of the National Defense Authorization Act for Fiscal Year

L0:2012 (Pub. L. 112-81), as amended by section 817 of the National Defense Authorization Act for Fiscal Year 2015 (Pub. L.

L0:113-291) and section 885 of the National Defense Authorization Act for Fiscal Year 2016 (Pub. L. 114-92), the Contractor

L0:shall?

L1:(1) First obtain electronic parts that are in production by the original manufacturer or an authorized aftermarket

L0:manufacturer or currently available in stock from?

L1:(i) The original manufacturers of the parts;

L1:(ii) Their authorized suppliers; or

L1:(iii) Suppliers that obtain such parts exclusively from the original manufacturers of the parts or their authorized suppliers;

L1:(2) If electronic parts are not available as provided in paragraph (b)(1) of this clause, obtain electronic parts that are not in

L0:production by the original manufacturer or an authorized aftermarket manufacturer, and that are not currently available in

L0:stock from a source listed in paragraph (b)(1) of this clause, from suppliers identified by the Contractor as contractorapproved suppliers, provided that?

L1:(i) For identifying and approving such contractor-approved suppliers, the Contractor uses established counterfeit

L0:prevention industry standards and processes (including inspection, testing, and authentication), such as the

DoD-adopted

L0:standards at <https://assist.dla.mil>;

L1:(ii) The Contractor assumes responsibility for the authenticity of parts provided by such contractor-approved suppliers; and

L1:(iii) The Contractor's selection of such contractor-approved suppliers is subject to review, audit, and approval by the L0:Government, generally in conjunction with a contractor purchasing system review or other surveillance of purchasing L0:practices by the contract administration office, or if the Government obtains credible evidence that a contractor-approved

L0:supplier has provided counterfeit parts. The Contractor may proceed with the acquisition of electronic parts from a L0:contractor-approved supplier unless otherwise notified by DoD; or

L1:(3)(i) Take the actions in paragraph (b)(3)(ii) of this clause if the Contractor?

L1:(A) Obtains an electronic part from?

L1:(1) A source other than any of the sources identified in paragraph (b)(1) or (b)(2) of this clause, due to nonavailability from

L0:such sources; or

L1:(2) A subcontractor (other than the original manufacturer) that refuses to accept flowdown of this clause; or

L1:(B) Cannot confirm that an electronic part is new or previously unused and that it has not been comingled in supplier new

L0:production or stock with used, refurbished, reclaimed, or returned parts.

L1:(ii) If the contractor obtains an electronic part or cannot confirm an electronic part pursuant to paragraph (b)(3)(i) of this

L0:clause?

L1:(A) Promptly notify the Contracting Officer in writing. If such notification is required for an electronic part to be used in a

L0:designated lot of assemblies to be acquired under a single contract, the Contractor may submit one notification for the lot,

L0:providing identification of the assemblies containing the parts (e.g., serial numbers);

L1:(B) Be responsible for inspection, testing, and authentication, in accordance with existing applicable industry standards;

L0:and

L1:(C) Make documentation of inspection, testing, and authentication of such electronic parts available to the Government

L0:upon request.

L1:(c) Traceability.If the Contractor is not the original manufacturer of, or authorized supplier for, an electronic part, the L0:Contractor shall?

L1:(1) Have risk-based processes (taking into consideration the consequences of failure of an electronic part) that enable

L0:tracking of electronic parts from the original manufacturer to product acceptance by the Government, whether the L0:electronic part is supplied as a discrete electronic part or is contained in an assembly;

L1:(2) If the Contractor cannot establish this traceability from the original manufacturer for a specific electronic part, be L0:responsible for inspection, testing, and authentication, in accordance with existing applicable industry standards; and

L1:(3)(i) Maintain documentation of traceability (paragraph (c)(1) of this clause) or the inspection, testing, and authentication

L0:required when traceability cannot be established (paragraph (c)(2) of this clause) in accordance with FAR subpart

4.7; and

L1:(ii) Make such documentation available to the Government upon request.

L1:(d) Government sources. Contractors and subcontractors are still required to comply with the requirements of paragraphs

L1:(b) and (c) of this clause, as applicable, if?

L1:(1) Authorized to purchase electronic parts from the Federal Supply Schedule;

L1:(2) Purchasing electronic parts from suppliers accredited by the Defense Microelectronics Activity; or

L1:(3) Requisitioning electronic parts from Government inventory/stock under the authority of 252.251-7000 , Ordering from

L0:Government Supply Sources.

L1:(i) The cost of any required inspection, testing, and authentication of such parts may be charged as a direct cost.

L1:(ii) The Government is responsible for the authenticity of the requisitioned parts. If any such part is subsequently found to

L0:be counterfeit or suspect counterfeit, the Government will?

L1:(A) Promptly replace such part at no charge; and

L1:(B) Consider an adjustment in the contract schedule to the extent that replacement of the counterfeit or suspect counterfeit

L0:electronic parts caused a delay in performance.

L1:(e) Subcontracts.The Contractor shall include the substance of this clause, including this paragraph (e), in subcontracts,

L0:including subcontracts for commercial products, that are for electronic parts or assemblies containing electronic parts,

L0:unless the subcontractor is the original manufacturer.

L0:(End of clause)

252.247-7000 Hardship Conditions

Status: active

L0:252.247-7000 Hardship Conditions.

L0:As prescribed in 247.270-4 (a), use the following clause:

L0:HARDSHIP CONDITIONS (AUG 2000)

L1:(a) If the Contractor finds unusual ship, dock, or cargo conditions associated with loading or unloading a particular cargo,

L0:that will work a hardship on the Contractor if loaded or unloaded at the basic commodity rates, the Contractor shall?

L1:(1) Notify the Contracting Officer before performing the work, if feasible, but no later than the vessel sailing time; and

L1:(2) Submit any associated request for price adjustment to the Contracting Officer within 10 working days of the vessel

L0:sailing time.

L1:(b) Unusual conditions include, but are not limited to, inaccessibility of place of stowage to the ship's cargo gear, side port

L0:operations, and small quantities of cargo in any one hatch.

L1:(c) The Contracting Officer will investigate the conditions promptly after receiving the notice. If the Contracting Officer

L0:finds that the conditions are unusual and do materially affect the cost of loading or unloading, the Contracting Officer

will

L0:authorize payment at the applicable man-hour rates set forth in the schedule of rates of this contract.

L0:(End of clause)

252.247-7002 Revision of Prices

Status: active

L0:252.247-7002 Revision of Prices.

L0:As prescribed in 247.270-4 (b), use the following clause:

L0:REVISION OF PRICES (DEC 1991)

L1:(a) Definition. ?Wage adjustment,? as used in this clause, means a change in the wages, salaries, or other terms or conditions of employment which?

L1:(1) Substantially affects the cost of performing this contract;

L1:(2) Is generally applicable to the port where work under this contract is performed; and

L1:(3) Applies to operations by the Contractor on non-Government work as well as to work under this contract.

L1:(b) General. The prices fixed in this contract are based on wages and working conditions established by collective bargaining agreements, and on other conditions in effect on the date of this contract. The Contracting Officer and the

L0:Contractor may agree to increase or decrease such prices in accordance with this clause.

L1:(c) Demand for negotiation.

L1:(1) At any time, subject to the limitations specified in this clause, either the Contracting Officer or the Contractor may deliver to the other a written demand that the parties negotiate to revise the prices under this contract.

L1:(2) No such demand shall be made before 90 days after the date of this contract, and thereafter neither party shall make a

L0:demand having an effective date within 90 days of the effective date of any prior demand. However, this limitation does

L0:not apply to a wage adjustment during the 90 day period.

L1:(3) Each demand shall specify a date (the same as or subsequent to the date of the delivery of the demand) as to when the

L0:revised prices shall be effective. This date is the effective date of the price revision.

L1:(i) If the Contractor makes a demand under this clause, the demand shall briefly state the basis of the demand and include

L0:the statements and data referred to in paragraph (d) of this clause.

L1:(ii) If the demand is made by the Contracting Officer, the Contractor shall furnish the statements and data within 30 days of

L0:the delivery of the demand.

L1:(d) Submission of data. At the times specified in paragraphs (c)(3)(i) and (ii) of this clause, the Contractor shall submit?

L1:(1) A new estimate and breakdown of the unit cost and the proposed prices for the services the Contractor will perform

L0:under this contract after the effective date of the price revision, itemized to be consistent with the original negotiations of

L0:the contract;

L1:(2) An explanation of the difference between the original (or last preceding) estimate and the new estimate;

L1:(3) Such relevant operating data, cost records, overhead absorption reports, and accounting statements as may be of

L0:assistance in determining the accuracy and reliability of the new estimate;

L1:(4) A statement of the actual costs of performance under this contract to the extent that they are available at the time of the

L0:negotiation of the revision of prices under this clause; and

L1:(5) Any other relevant data usually furnished in the case of negotiations of prices under a new contract. The Government

L0:may examine and audit the Contractor's accounts, records, and books as the Contracting Officer considers necessary.

L1:(e) Negotiations.

L1:(1) Upon the filing of the statements and data required by paragraph (d) of this clause, the Contractor and the Contracting

L0:Officer shall negotiate promptly in good faith to agree upon prices for services the Contractor will perform on and after the

L0:effective date of the price revision.

L1:(2) If the prices in this contract were established by competitive negotiation, they shall not be revised upward unless

L0:justified by changes in conditions occurring after the contract was awarded.

L1:(3) The agreement reached after each negotiation will be incorporated into the contract by supplemental agreement.

L1:(f) Disagreements. If, within 30 days after the date on which statements and data are required pursuant to paragraph (c) of

L0:this clause, the Contracting Officer and the Contractor fail to agree to revised prices, the failure to agree shall be resolved

L0:in accordance with the Disputes clause of this contract. The prices fixed by the Contracting Officer will remain in effect for

L0:the balance of the contract, and the Contractor shall continue performance.

L1:(g) Retroactive changes in wages or working conditions.

L1:(1) In the event of a retroactive wage adjustment, the Contractor or the Contracting Officer may request an equitable

L0:adjustment in the prices in this contract.

L1:(2) The Contractor shall request a price adjustment within 30 days of any retroactive wage adjustment. The Contractor

L0:shall support its request with?

L1:(i) An estimate of the changes in cost resulting from the retroactive wage adjustment;

L1:(ii) Complete information upon which the estimate is based; and

L1:(iii) A certified copy of the collective bargaining agreement, arbitration award, or other document evidencing the

L0:retroactive wage adjustment.

L1:(3) Subject to the limitation in paragraph (g)(2) of this clause as to the time of making a request, completion or termination

L0:of this contract shall not affect the Contractor's right under paragraph (g) of this clause.

L1:(4) In case of disagreement concerning any question of fact, including whether any adjustment should be made, or the

L0:amount of such adjustment, the disagreement will be resolved in accordance with the Disputes clause of this contract.

L1:(5) The Contractor shall notify the Contracting Officer in writing of any request by or on behalf of the employees of the

L0:Contractor which may result in a retroactive wage adjustment. The notice shall be given within 20 days after the request, or

L0:if the request occurs before contract execution, at the time of execution.

L0:(End of clause)

252.247-7003 Pass-Through of Motor Carrier Fuel Surcharge Adjustment to the Cost Bearer

Status: active

L0:252.247-7003 Pass-Through of Motor Carrier Fuel Surcharge Adjustment to the Cost Bearer.

L0:As prescribed in 247.207 , use the following clause:

L0:PASS-THROUGH OF MOTOR CARRIER FUEL SURCHARGE ADJUSTMENT TO THE COST BEARER (JAN 2023)

L1:(a) This clause implements section 884 of the National Defense Authorization Act for Fiscal Year 2009 (Pub. L. 110-417).

L1:(b) Unless an exception is authorized by the Contracting Officer, the Contractor shall pass through any motor carrier fuelrelated surcharge adjustments to the person, corporation, or entity that directly bears the cost of fuel for shipment(s)

L0:transported under this contract.

L1:(c) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (c), in all subcontracts,

L0:including subcontracts for commercial products or commercial services, with motor carriers, brokers, or freight forwarders.

L0:(End of clause)

252.247-7007 Liability and Insurance

Status: active

L0:252.247-7007 Liability and Insurance.

L0:As prescribed in 247.270-4 (c), use the following clause:

L0:LIABILITY AND INSURANCE (DEC 1991)

L1:(a) The Contractor shall be?

L1:(1) Liable to the Government for loss or damage to property, real and personal, owned by the Government or for which the

L0:Government is liable;

L1:(2) Responsible for, and hold the Government harmless from, loss of or damage to property not included in paragraph (a)

L1:(1); and

L1:(3) Responsible for, and hold the Government harmless from, bodily injury and death of persons, resulting either in whole

L0:or in part from the negligence or fault of the Contractor, its officers, agents, or employees in the performance of work under

L0:this contract.

L1:(b) For the purpose of this clause, all cargo loaded or unloaded under this contract is agreed to be property owned by the

L0:Government or property for which the Government is liable.

L1:(1) The amount of the loss or damage as determined by the Contracting Officer will be withheld from payments otherwise

L0:due the Contractor.

L1:(2) Determination of liability and responsibility by the Contracting Officer will constitute questions of fact within the

L0:meaning of the Disputes clause of this contract.

L1:(c) The general liability and responsibility of the Contractor under this clause are subject only to the following specific

L0:limitations. The Contractor is not responsible to the Government for, and does not agree to hold the Government harmless

L0:from, loss or damage to property or bodily injury to or death of persons if?

L1:(1) The unseaworthiness of the vessel, or failure or defect of the gear or equipment furnished by the Government,

L0:contributed jointly with the fault or negligence of the Contractor in causing such damage, injury, or death; and

L1:(i) The Contractor, his officers, agents, and employees, by the exercise of due diligence, could not have discovered such

L0:unseaworthiness or defect of gear or equipment; or

L1:(ii) Through the exercise of due diligence could not otherwise have avoided such damage, injury, or death.

L1:(2) The damage, injury, or death resulted solely from an act or omission of the Government or its employees, or resulted

L0:solely from proper compliance by officers, agents, or employees of the Contractor with specific directions of the

L0:Contracting Officer.

L1:(d) The Contractor shall at its own expense acquire and maintain insurance during the term of this contract, as follows?

L1:(1) Standard workmen's compensation and employer's liability insurance and longshoremen's and harbor workers'

L0:compensation insurance, or such of these as may be proper under applicable state or Federal statutes.

L1:(i) The Contractor may, with the prior approval of the Contracting Officer, be a self-insurer against the risk of this

L0:paragraph (d)(1).

L1:(ii) This approval will be given upon receipt of satisfactory evidence that the Contractor has qualified as a self-insurer

L0:under applicable provision of law.

L1:(2) Bodily injury liability insurance in an amount of not less than \$300,000 on account of any one occurrence.

L1:(3) Property damage liability insurance (which shall include any and all property, whether or not in the care, custody, or

L0:control of the Contractor) in an amount of not less than \$300,000 for any one occurrence.

L1:(e) Each policy shall provide, by appropriate endorsement or otherwise, that cancellation or material change in the policy

L0:shall not be effective until after a 30 day written notice is furnished the Contracting Officer.

L1:(f) The Contractor shall furnish the Contracting Officer with satisfactory evidence of the insurance required in paragraph

L1:(d) before performance of any work under this contract.

L1:(g) The Contractor shall, at its own cost and expense, defend any suits, demands, claims, or actions, in which the United

L0:States might be named as a co-defendant of the Contractor, resulting from the Contractor's performance of work under this

L0:contract. This requirement is without regard to whether such suit, demand, claim, or action was the result of the

L0:Contractor's negligence. The Government shall have the right to appear in such suit, participate in defense, and take such

L0:actions as may be necessary to protect the interest of the United States.

L1:(h) It is expressly agreed that the provisions in paragraphs (d) through (g) of this clause shall not in any manner limit the

L0:liability or extend the liability of the Contractor as provided in paragraphs (a) through (c) of this clause.

L1:(i) The Contractor shall?

L1:(1) Equitably reimburse the Government if the Contractor is indemnified, reimbursed, or relieved of any loss or damage to

L0:Government property;

L1:(2) Do nothing to prevent the Government's right to recover against third parties for any such loss or damage; and

L1:(3) Furnish the Government, upon the request of the Contracting Officer, at the Government's expense, all reasonable

L0:assistance and cooperation in obtaining recovery, including the prosecution of suit and the execution of instruments of

L0:assignment in favor of the Government.

L0:(End of clause)

252.247-7014 Demurrage

Status: active

L0:252.247-7014 Demurrage.

L0:As prescribed in 247.271-3 (c), use the following clause:

L0:DEMURRAGE (DEC 1991)

L0:The Contractor shall be liable for all demurrage, detention, or other charges as a result of its failure to load or unload

L0:trucks, freight cars, freight terminals, vessel piers, or warehouses within the free time allowed under applicable rules and

L0:tariffs.

L0:(End of clause)

252.247-7016 Contractor Liability for Loss or Damage

Status: active

L0:252.247-7016 Contractor Liability for Loss or Damage.

L0:As prescribed in 247.271-3 (d), use the following clause:

L0:CONTRACTOR LIABILITY FOR LOSS OR DAMAGE (DEC 1991)

L1:(a) Definitions. As used in this clause?

L0:?Article? means any shipping piece or package and its contents.

L0:?Schedule? means the level of service for which specific types of traffic apply as described in DoD 4500.34-R, Personal

L0:Property Traffic Management Regulation.

L1:(b) For shipments picked up under Schedule I, Outbound Services, or delivered under Schedule II, Inbound Services?

L1:(1) If notified within one year after delivery that the owner has discovered loss or damage to the owner's property, the

L0:Contractor agrees to indemnify the Government for loss or damage to the property which arises from any cause while it is

L0:in the Contractor's possession. The Contractor's liability is?

L1:(i) Non-negligent damage. For any cause, other than the Contractor's negligence, indemnification shall be at a rate not to

L0:exceed sixty cents per pound per article.

L1:(ii) Negligent damage. When loss or damage is caused by the negligence of the Contractor, the liability is for the full cost

L0:of satisfactory repair or for the current replacement value of the article.

L1:(2) The Contractor shall make prompt payment to the owner of the property for any loss or damage for which the

L0:Contractor is liable.

L1:(3) In the absence of evidence or supporting documentation which places liability on a carrier or another contractor, the

L0:destination contractor shall be presumed to be liable for the loss or damage, if timely notified.

L1:(c) For shipments picked up or delivered under Schedule III, Intra-City and Intra-Area?

L1:(1) If notified of loss or damage within 75 days following delivery, the Contractor agrees to indemnify the Government for

L0:loss or damage to the owner's property.

L1:(2) The Contractor's liability shall be for the full cost of satisfactory repair, or for the current replacement value of the

L0:article less depreciation, up to a maximum liability of \$1.25 per pound times the net weight of the shipment.

L1:(3) The Contractor has full salvage rights to damaged items which are not repairable and for which the Government has

L0:received compensation at replacement value.

L0:(End of clause)

252.247-7023 Transportation of Supplies by Sea

Status: active

L0:252.247-7023 Transportation of Supplies by Sea.

L0:Basic. As prescribed in 247.574 (a) and (a)(1), use the following clause:

L0:TRANSPORTATION OF SUPPLIES BY SEA?BASIC (Oct 2024)

L1:(a) Definitions. As used in this clause?

L0:"Foreign-flag vessel" means any vessel that is not a U.S.-flag vessel.

L0:"Ocean transportation" means any water-borne transportation aboard a ship, vessel, boat, barge, ferry, or the like outside

L0:the internal waters of the United States as defined in 33 CFR 2.24.

L0:"Subcontractor" means a supplier, materialman, distributor, or vendor at any level below the prime contractor whose

L0:contractual obligation to perform results from, or is conditioned upon, award of the prime contract and who is performing

L0:any part of the work or other requirement of the prime contract.

L0:"Supplies" means supplies that are clearly identifiable for eventual use by or owned by DoD at the time of transportation

L0:by sea, or are otherwise transported by DoD, regardless of ownership or use by DoD. An item is clearly identifiable for

L0:eventual use by DoD if, for example, the contract documentation contains a reference to a DoD contract number or a

L0:military destination.

L0:"U.S.-flag vessel" means either a vessel belonging to the United States or a vessel of the United States as that term is

L0:defined in 46 U.S.C. 116.

L1:(b) If the transportation of supplies by sea is anticipated under this contract, the Contractor shall?

L1:(1) Notify the Contracting Officer and Maritime Administration (MARAD) at Cargo.Marad@dot.gov ?

L1:(i) Within 3 business days after contract award; or

L1:(ii) Immediately prior to the shipment departure date necessary to meet delivery schedules, whichever is earlier; and

L1:(2) Include in the notification?

L1:(i) A statement of the Contractor's intent to transport supplies by sea;

L1:(ii) The contract number; and

L1:(iii) The task-order or delivery-order number, when applicable.

L1:(c)(1) The Contractor shall use U.S.-flag vessels when transporting any supplies by sea under this contract.

L1:(2) A subcontractor transporting supplies by sea under this contract shall use U.S.-flag vessels if?

L1:(i) This contract is a construction contract; or

L1:(ii) The supplies being transported are?

L1:(A) Other than commercial products; or

L1:(B) Commercial products that?

L1:(1)The Contractor is reselling or distributing to the Government without adding value (generally, the Contractor does not

L0:add value to items that it subcontracts for f.o.b. destination shipment);

L1:(2)Are shipped in direct support of U.S. military contingency operations, exercises, or forces deployed in humanitarian or

L0:peacekeeping operations; or

L1:(3)Are commissary or exchange cargoes transported outside of the Defense Transportation System in accordance with 10

L0:U.S.C. 2643.

L1:(d) The Contractor and its subcontractors may request, via the Contracting Officer, a waiver of the requirement to use a

L0:U.S.-flag vessel, or identification of any available U.S.-flag vessels, if the Contractor or a subcontractor sufficiently

L0:explains that?

L1:(1) U.S.-flag vessels are not available at a fair and reasonable rate for commercial vessels of the United States; or

L1:(2) U.S.-flag vessels are otherwise not available.

L1:(e) The Contractor must submit any request for use of foreign-flag vessels in writing to the Contracting Officer at least 45

L0:days prior to the sailing date necessary to meet its delivery schedules. The Contracting Officer will process requests

L0:submitted after such date(s) as expeditiously as possible, however, if a DoD waiver is not approved prior to the shipper's

L0:sailing date, this will not of itself constitute a compensable delay under this or any other clause of this contract. Requests

L0:shall contain at a minimum?

L1:(1) Type, weight, and cube of cargo;

L1:(2) Required shipping date(s) and required delivery date(s);

L1:(3) Special handling and discharge requirements;

L1:(4) Loading and discharge points;

L1:(5) Name of shipper and consignee;

L1:(6) Prime contract number; and

L1:(7) A documented description of current, diligent efforts made to secure U.S.-flag vessels, including points of contact (with

L0:names and telephone numbers) with at least two U.S.-flag carriers contacted. Copies of quotes will suffice for this purpose.

L0:Copies of telephone notes, emails, and other relevant communications will otherwise be considered for this purpose.

L1:(f) The Contractor shall, within 30 days after each shipment covered by this clause, provide the Contracting Officer and

L0:MARAD at Cargo.Marad@dot.gov, Attention: Military Team, one copy of the rated on board vessel operating carrier's

L0:ocean bill of lading, which shall contain the following information:

L1:(1) Prime contract number;

L1:(2) Name of vessel;

L1:(3) Vessel flag of registry;

L1:(4) Date of loading;

L1:(5) Port of loading;

L1:(6) Port of final discharge;

L1:(7) Description of commodity;

L1:(8) Gross weight in pounds and cubic feet if available;

L1:(9) Total ocean freight in U.S. dollars; and

L1:(10) Name of the carrier.

L1:(g) If this contract exceeds the simplified acquisition threshold, the Contractor shall provide with its final invoice under this

L0:contract a representation that to the best of its knowledge and belief?

L1:(1) No ocean transportation was used in the performance of this contract;

L1:(2) Ocean transportation was used and only U.S.-flag vessels were used for all ocean shipments under the contract;

L1:(3) Ocean transportation was used, and the Contractor had received a prior-approved waiver for U.S.-flag vessels for all

L0:foreign-flag ocean transportation; or

L1:(4) Ocean transportation was used and some or all of the shipments were made on foreign-flag vessels without the written

L0:consent of DoD. The Contractor shall describe these shipments in the following format:

L0:ITEM DESCRIPTION

L0:QUANTITY

L0:CONTRACT LINE ITEMS

L0:TOTAL

L1:(h) If this contract exceeds the simplified acquisition threshold and the final invoice does not include the required

L0:representation, the Government will reject and return it to the Contractor as an improper invoice for the purposes of the

L0:Prompt Payment clause of this contract. In the event there has been unauthorized use of foreign-flag vessels in the

L0:performance of this contract, the Contracting Officer is entitled to equitably adjust the contract, based on the

unauthorized

L0:use.

L1:(i) If the Contractor did not anticipate transporting any supplies by sea at the time of contract award and, therefore, did not

L0:provide the notification required by paragraph (b) of this clause, but prior to shipment of supplies, the Contractor learns

L0:that supplies will be transported by sea, the Contractor shall?

L1:(1) Provide the notification required by paragraph (b) of this clause to the Contracting Officer and MARAD as soon as it is

L0:known that supplies will be transported by sea; and

L1:(2) Comply with all the terms and conditions of this clause.

L1:(j) Subcontracts. In the award of subcontracts, for the types of supplies described in paragraph (c)(2) of this clause,

L0:including subcontracts for commercial products, the Contractor shall flow down the requirements of this clause as follows:

L1:(1) The Contractor shall insert the substance of this clause, including this paragraph (j), in subcontracts that exceed the

L0:simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.

L1:(2) The Contractor shall insert the substance of paragraphs (a) through (f) of this clause, and this paragraph (j), in

L0:subcontracts that are at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.

L0:(End of clause)

L0:Alternate I. As prescribed in 247.574 (a) and (a)(2), use the following clause, which uses a different paragraph (c) than the

L0:basic clause:

L0:TRANSPORTATION OF SUPPLIES BY SEA?ALTERNATE I (Oct 2024)

L1:(a) Definitions. As used in this clause?

L0:"Foreign-flag vessel" means any vessel that is not a U.S.-flag vessel.

L0:"Ocean transportation" means any water-borne transportation aboard a ship, vessel, boat, barge, ferry, or the like outside

L0:the internal waters of the United States as defined in 33 CFR 2.24.

L0:"Subcontractor" means a supplier, materialman, distributor, or vendor at any level below the prime contractor whose

L0:contractual obligation to perform results from, or is conditioned upon, award of the prime contract and who is performing

L0:any part of the work or other requirement of the prime contract.

L0:"Supplies" means supplies that are clearly identifiable for eventual use by or owned by DoD at the time of transportation

L0:by sea, or are otherwise transported by DoD, regardless of ownership or use by DoD. An item is clearly identifiable for

L0:eventual use by DoD if, for example, the contract documentation contains a reference to a DoD contract number or a

L0:military destination.

L0:"U.S.-flag vessel" means either a vessel belonging to the United States or a vessel of the United States as that term is

L0:defined in 46 U.S.C. 116.

L1:(b) If the transportation of supplies by sea is anticipated under this contract, the Contractor shall?

L1:(1) Notify the Contracting Officer and Maritime Administration (MARAD) at Cargo.Marad@dot.gov ?

L1:(i) Within 3 business days after contract award; or

L1:(ii) Immediately prior to the shipment departure date necessary to meet delivery schedules, whichever is earlier; and

L1:(2) Include in the notification?

L1:(i) A statement of the Contractor's intent to transport supplies by sea;

L1:(ii) The contract number; and

L1:(iii) The task-order or delivery-order number, when applicable.

L1:(c)(1) The Contractor shall use U.S.-flag vessels when transporting any supplies by sea under this contract.

L1:(2) A subcontractor transporting supplies by sea under this contract shall use U.S.-flag vessels if the supplies being
L0:transported are?

L1:(i) Other than commercial products; or

L1:(ii) Commercial products that?

L1:(A) The Contractor is reselling or distributing to the Government without adding value (generally, the Contractor does
not

L0:add value to items that it subcontracts for f.o.b. destination shipment);

L1:(B) Are shipped in direct support of U.S. military contingency operations, exercises, or forces deployed in
humanitarian or

L0:peacekeeping operations (Note: This contract requires shipment of commercial products in direct support of U.S.
military

L0:contingency operations, exercises, or forces deployed in humanitarian or peacekeeping operations); or

L1:(C) Are commissary or exchange cargoes transported outside of the Defense Transportation System in accordance
with 10

L0:U.S.C. 2643.

L1:(d) The Contractor and its subcontractors may request, via the Contracting Officer, a waiver of the requirement to
use a

L0:U.S.-flag vessel, or identification of any available U.S.-flag vessels, if the Contractor or a subcontractor sufficiently

L0:explains that?

L1:(1) U.S.-flag vessels are not available at a fair and reasonable rate for commercial vessels of the United States; or

L1:(2) U.S.-flag vessels are not available at a fair and reasonable rate for commercial vessels of the United States; or

L1:(e) The Contractor must submit any request for use of foreign-flag vessels in writing to the Contracting Officer at
least 45

L0:days prior to the sailing date necessary to meet its delivery schedules. The Contracting Officer will process requests

L0:submitted after such date(s) as expeditiously as possible, however, if a DoD waiver is not approved prior to the
shipper's

L0:sailing date, this will not of itself constitute a compensable delay under this or any other clause of this contract.
Requests

L0:shall contain at a minimum?

L1:(1) Type, weight, and cube of cargo;

L1:(2) Required shipping date(s) and required delivery date(s);

L1:(3) Special handling and discharge requirements;

L1:(4) Loading and discharge points;

L1:(5) Name of shipper and consignee;

L1:(6) Prime contract number; and

L1:(7) A documented description of current, diligent efforts made to secure U.S.-flag vessels, including points of contact
(with

L0:names and telephone numbers) with at least two U.S.-flag carriers contacted. Copies of quotes will suffice for this

purpose.

L0:Copies of telephone notes, emails, and other relevant communications will otherwise be considered for this purpose.

L1:(f) The Contractor shall, within 30 days after each shipment covered by this clause, provide the Contracting Officer and

L0:MARAD at Cargo.Marad@dot.gov, Attention: Military Team, one copy of the rated on board vessel operating carrier's

L0:ocean bill of lading, which shall contain the following information:

L1:(1) Prime contract number;

L1:(2) Name of vessel;

L1:(3) Vessel flag of registry;

L1:(4) Date of loading;

L1:(5) Port of loading;

L1:(6) Port of final discharge;

L1:(7) Description of commodity;

L1:(8) Gross weight in pounds and cubic feet if available;

L1:(9) Total ocean freight in U.S. dollars; and

L1:(10) Name of the carrier.

L1:(g) If this contract exceeds the simplified acquisition threshold, the Contractor shall provide with its final invoice under this

L0:contract a representation that to the best of its knowledge and belief?

L1:(1) No ocean transportation was used in the performance of this contract;

L1:(2) Ocean transportation was used and only U.S.-flag vessels were used for all ocean shipments under the contract;

L1:(3) Ocean transportation was used, and the Contractor had received a prior-approved waiver for U.S.-flag vessels for all

L0:foreign-flag ocean transportation; or

L1:(4) Ocean transportation was used and some or all of the shipments were made on foreign-flag vessels without the written

L0:consent of DoD. The Contractor shall describe these shipments in the following format:

L0:ITEM DESCRIPTION

L0:QUANTITY

L0:CONTRACT LINE ITEMS

L0:TOTAL

L1:(h) If this contract exceeds the simplified acquisition threshold and the final invoice does not include the required

L0:representation, the Government will reject and return it to the Contractor as an improper invoice for the purposes of the

L0:Prompt Payment clause of this contract. In the event there has been unauthorized use of foreign-flag vessels in the

L0:performance of this contract, the Contracting Officer is entitled to equitably adjust the contract, based on the unauthorized

L0:use.

L1:(i) If the Contractor did not anticipate transporting any supplies by sea at the time of contract award and, therefore, did not

L0:provide the notification required by paragraph (b) of this clause, but prior to shipment of the supplies, the Contractor learns

L0:that supplies will be transported by sea, the Contractor shall?

L1:(1) Provide the notification required by paragraph (b) of this clause to the Contracting Officer and MARAD as soon as it is

L0:known that supplies will be transported by sea; and

L1:(2) Comply with all the terms and conditions of this clause.

L1:(j) Subcontracts. In the award of subcontracts for the types of supplies described in paragraph (c)(2) of this clause,

L0:including subcontracts for commercial products, the Contractor shall flow down the requirements of this clause as follows:

L1:(1) The Contractor shall insert the substance of this clause, including this paragraph (j), in subcontracts that exceed the

L0:simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.

L1:(2) The Contractor shall insert the substance of paragraphs (a) through (f) of this clause, and this paragraph (j), in

L0:subcontracts that are at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.

L0:(End of clause)

L0:Alternate II. As prescribed in 247.574 (a) and (a)(3), use the following clause, which uses a different paragraph (c) than the

L0:basic clause:

L0:TRANSPORTATION OF SUPPLIES BY SEA?ALTERNATE II (Oct 2024)

L1:(a) Definitions. As used in this clause?

L0:"Foreign-flag vessel" means any vessel that is not a U.S.-flag vessel.

L0:"Ocean transportation" means any water-borne transportation aboard a ship, vessel, boat, barge, ferry, or the like outside

L0:the internal waters of the United States as defined in 33 CFR 2.24.

L0:"Subcontractor" means a supplier, materialman, distributor, or vendor at any level below the prime contractor whose

L0:contractual obligation to perform results from, or is conditioned upon, award of the prime contract and who is performing

L0:any part of the work or other requirement of the prime contract.

L0:"Supplies" means supplies that are clearly identifiable for eventual use by or owned by DoD at the time of transportation

L0:by sea, or are otherwise transported by DoD, regardless of ownership or use by DoD. An item is clearly identifiable for

L0:eventual use by DoD if, for example, the contract documentation contains a reference to a DoD contract number or a

L0:military destination.

L0:U.S.-flag vessel means either a vessel belonging to the United States or a vessel of the United States as that term is defined

L0:in 46 U.S.C. 116.

L1:(b) If the transportation of supplies by sea is anticipated under this contract, the Contractor shall?

L1:(1) Notify the Contracting Officer and Maritime Administration (MARAD) at Cargo.Marad@dot.gov ?

L1:(i) Within 3 business days after contract award; or

L1:(ii) Immediately prior to the shipment departure date necessary to meet delivery schedules, whichever is earlier; and

L1:(2) Include in the notification?

L1:(i) A statement of the Contractor's intent to transport supplies by sea;

L1:(ii) The contract number; and

L1:(iii) The task-order or delivery-order number, when applicable.

L1:(c)(1) The Contractor shall use U.S.-flag vessels when transporting any supplies by sea under this contract.

L1:(2) A subcontractor transporting supplies by sea under this contract shall use U.S.-flag vessels if the supplies being L0:transported are?

L1:(i) Other than commercial products; or

L1:(ii) Commercial products that?

L1:(A) The Contractor is reselling or distributing to the Government without adding value (generally, the Contractor does not

L0:add value to items that it subcontracts for f.o.b. destination shipment);

L1:(B) Are shipped in direct support of U.S. military contingency operations, exercises, or forces deployed in humanitarian or

L0:peacekeeping operations; or

L1:(C) Are commissary or exchange cargoes transported outside of the Defense Transportation System in accordance with 10

L0:U.S.C. 2643 (Note: This contract requires transportation of commissary or exchange cargoes outside of the Defense L0:Transportation System in accordance with 10 U.S.C. 2643).

L1:(d) The Contractor and its subcontractors may request, via the Contracting Officer, a waiver of the requirement to use a

L0:U.S.-flag vessel, or identification of any available U.S.-flag vessels, if the Contractor or a subcontractor sufficiently

L0:explains that?

L1:(1) U.S.-flag vessels are not available at a fair and reasonable rate for commercial vessels of the United States; or

L1:(2) U.S.-flag vessels are otherwise not available.

L1:(e) The Contractor must submit any request for use of foreign-flag vessels in writing to the Contracting Officer at least 45

L0:days prior to the sailing date necessary to meet its delivery schedules. The Contracting Officer will process requests

L0:submitted after such date(s) as expeditiously as possible, however, if a DoD waiver is not approved prior to the shipper's

L0:sailing date, this will not of itself constitute a compensable delay under this or any other clause of this contract.

Requests

L0:shall contain at a minimum?

L1:(1) Type, weight, and cube of cargo;

L1:(2) Required shipping date(s) and required delivery date(s);

L1:(3) Special handling and discharge requirements;

L1:(4) Loading and discharge points;

L1:(5) Name of shipper and consignee;

L1:(6) Prime contract number; and

L1:(7) A documented description of current, diligent efforts made to secure U.S.-flag vessels, including points of contact (with

L0:names and telephone numbers) with at least two U.S.-flag carriers contacted. Copies of quotes will suffice for this purpose.

L0:Copies of telephone notes, emails, and other relevant communications will otherwise be considered for this purpose.

L1:(f) The Contractor shall, within 30 days after each shipment covered by this clause, provide the Contracting Officer and

L0:MARAD at Cargo.Marad@dot.gov, Attention: Military Team, one copy of the rated on board vessel operating carrier's

L0:ocean bill of lading, which shall contain the following information:

L1:(1) Prime contract number;

L1:(2) Name of vessel;

L1:(3) Vessel flag of registry;

L1:(4) Date of loading;

L1:(5) Port of loading;

L1:(6) Port of final discharge;

L1:(7) Description of commodity;

L1:(8) Gross weight in pounds and cubic feet if available;

L1:(9) Total ocean freight in U.S. dollars; and

L1:(10) Name of the carrier.

L1:(g) If this contract exceeds the simplified acquisition threshold, the Contractor shall provide with its final invoice under this

L0:contract a representation that to the best of its knowledge and belief?

L1:(1) No ocean transportation was used in the performance of this contract;

L1:(2) Ocean transportation was used and only U.S.-flag vessels were used for all ocean shipments under the contract;

L1:(3) Ocean transportation was used, and the Contractor had received a prior-approved waiver for U.S.-flag vessels for all

L0:foreign-flag ocean transportation; or

L1:(4) Ocean transportation was used and some or all of the shipments were made on foreign-flag vessels without the written

L0:consent of DoD. The Contractor shall describe these shipments in the following format:

L0:ITEM DESCRIPTION

L0:QUANTITY

L0:CONTRACT LINE ITEMS

L0:TOTAL

L1:(h) If this contract exceeds the simplified acquisition threshold and the final invoice does not include the required

L0:representation, the Government will reject and return it to the Contractor as an improper invoice for the purposes of the

L0:Prompt Payment clause of this contract. In the event there has been unauthorized use of foreign-flag vessels in the L0:performance of this contract, the Contracting Officer is entitled to equitably adjust the contract, based on the unauthorized

L0:use.

L1:(i) If the Contractor did not anticipate transporting any supplies by sea at the time of contract award, and, therefore, did not

L0:provide the notification required by paragraph (b) of this clause, but prior to shipment of the supplies, the Contractor learns

L0:after the award of the contract that supplies will be transported by sea, the Contractor shall?

L1:(1) Provide the notification required by paragraph (b) of this clause to the Contracting Officer and MARAD as soon as it is

L0:known that supplies will be transported by sea; and

L1:(2) Comply with all the terms and conditions of this clause.

L1:(j) Subcontracts. In the award of subcontracts for the types of supplies described in paragraph (c)(2) of this clause,

L0:including subcontracts for commercial products, the Contractor shall flow down the requirements of this clause as follows:

L1:(1) The Contractor shall insert the substance of this clause, including this paragraph (j), in subcontracts that exceed

the

L0:simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.

L1:(2) The Contractor shall insert the substance of paragraphs (a) through (f) of this clause, and this paragraph (j), in

L0:subcontracts that are at or below the simplified acquisition threshold in part 2 of the Federal Acquisition Regulation.

L0:(End of clause)

252.247-7025 Reflagging or Repair Work

Status: active

L0:252.247-7025 Reflagging or Repair Work.

L0:As prescribed in 247.574 (b), use the following clause:

L0:REFLAGGING OR REPAIR WORK (Oct 2024)

L1:(a) Definitions. As used in this clause?

L0:"Corrective and preventive maintenance or repair" means?

L1:(1) Maintenance or repair actions performed as a result of a failure in order to return or restore equipment to acceptable

L0:performance levels; and

L1:(2) Scheduled maintenance or repair actions to prevent or discover functional failures.

L0:"Reflagging or repair work" means work performed on a vessel?

L1:(1) To enable the vessel to meet applicable standards to become a vessel of the United States; or

L1:(2) To convert the vessel to a more useful military configuration.

L1:(b) Requirement. Unless DoD waives this requirement, the Contractor shall ensure performance of the following in the

L0:United States or its outlying areas:

L1:(1) Reflagging or repair work, if the reflagging or repair work is performed?

L1:(i) On a vessel for which the Contractor submitted an offer in response to the solicitation for this contract; and

L1:(ii) Prior to acceptance of the vessel by the Government.

L1:(2) Corrective and preventive maintenance or repair work for the duration of the contract, to the greatest extent practicable.

L0:(End of clause)

252.247-7026 Evaluation Preference for Use of Domestic Shipyards ? Applicable to Acquisition of Carriage by

Status: active

L0:252.247-7026 Evaluation Preference for Use of Domestic Shipyards ? Applicable to Acquisition of Carriage by

L0:Vessel for DoD Cargo in the Coastwise or Noncontiguous Trade.

L0:As prescribed in 247.574 (c), use the following provision:

L0:EVALUATION PREFERENCE FOR USE OF DOMESTIC SHIPYARDS ? APPLICABLE TO ACQUISITION OF

L0:CARRIAGE BY VESSEL FOR DOD CARGO IN THE COASTWISE OR NONCONTIGUOUS TRADE (Oct 2024)

L1:(a) Definitions. As used in this provision?

L0:Covered vessel? means a vessel?

L1:(1) Owned, operated, or controlled by the offeror; and

L1:(2) Qualified to engage in the carriage of cargo in the coastwise or noncontiguous trade under 46 U.S.C. 12112 and 50501

L0:and 46 U.S.C. chapter 551.

L0:Foreign shipyard? means a shipyard that is not a U.S. shipyard.

L0:Overhaul, repair, and maintenance work? means work requiring a shipyard period greater than or equal to 5 calendar days.

L0:U.S. shipyard? means a shipyard that is located in any State of the United States or in Guam.

L1:(b) This solicitation includes an evaluation criterion that considers the extent to which the Offeror has had overhaul, repair,

L0:and maintenance work for covered vessels performed in U.S. shipyards.

L1:(c) The Offeror shall provide the following information with its offer, addressing all covered vessels for which overhaul,

L0:repair, and maintenance work has been performed during the period covering the current calendar year, up to the date of

L0:proposal submission, and the preceding four calendar years:

L1:(1) Name of vessel.

L1:(2) Description and cost of qualifying shipyard work performed in U.S. shipyards.

L1:(3) Description and cost of qualifying shipyard work performed in foreign shipyards and whether?

L1:(i) Such work was performed as emergency repairs in foreign shipyards due to accident, emergency, Act of God, or an

L0:infirmity to the vessel, and safety considerations warranted taking the vessel to a foreign shipyard; or

L1:(ii) Such work was paid for or reimbursed by the U.S. Government.

L1:(4) Names of shipyards that performed the work.

L1:(5) Inclusive dates of work performed.

L1:(d) Offerors are responsible for submitting accurate information. The Contracting Officer?

L1:(1) Will use the information to evaluate offers in accordance with the criteria specified in the solicitation; and

L1:(2) Reserves the right to request supporting documentation if determined necessary in the proposal evaluation process.

L1:(e) The Department of Defense will provide the information submitted in response to this provision to the congressional

L0:defense committees, as required by section 1017 of Public Law 109-364 (10 U.S.C. 2631 note).

L0:(End of provision)

252.247-7027 Riding Gang Member Requirements

Status: active

L0:252.247-7027 Riding Gang Member Requirements.

L0:As prescribed in 247.574 (d), use the following clause:

L0:RIDING GANG MEMBER REQUIREMENTS (MAY 2018)

L1:(a) Definition. ?Riding gang member,? as used in this clause, has the same definition as ?riding gang member? in title 46

L0:U.S.C. 2101.

L1:(b) Requirements relating to riding gang members. Notwithstanding 46 U.S.C. 8106, the Contractor shall ensure each

L0:riding gang member holds a valid U.S. Merchant Mariner's Document issued under 46 U.S.C. chapter 73, or a
L0:transportation security card issued under section 70105 of such title.

L1:(c) Exemption.

L1:(1) An individual is exempt from the requirements of paragraph (b) of this clause and shall not be treated as a riding
gang

L0:member for the purposes of section 8106 of title 46, if that individual is on a vessel for purposes other than engaging
in the

L0:operation or maintenance of the vessel and is?

L1:(i) One of the personnel who accompanies, supervises, guards, or maintains unit equipment aboard a ship,
commonly

L0:referred to as supercargo personnel;

L1:(ii) One of the force protection personnel of the vessel;

L1:(iii) A specialized repair technician; or

L1:(iv) An individual who is otherwise required by the Secretary of Defense or designee to be aboard the vessel.

L1:(2) Any individual who is exempt under paragraph (c)(1) of this clause must pass a DoD background check before
going

L0:aboard the vessel.

L1:(i) The Contractor shall?

L1:(A) Render all necessary assistance to U.S. Armed Forces personnel with respect to the identification and screening
of

L0:exempted individuals. This will require, at a minimum, the Contractor to submit the name and other biographical

L0:information necessary to the Government official specified in the contract for the purposes of conducting a
background

L0:check; and

L1:(B) Deny access or immediately remove any individual(s) from the vessel deemed unsuitable for any reason by the

L0:Government agency conducting the background checks. The Contractor agrees to replace any such individual
promptly and

L0:require such replacements to fully comply with all screening requirements.

L1:(ii) The head of the contracting activity may waive this requirement if the individual possesses a valid U.S. Merchant

L0:Mariner's Document issued under 46 U.S.C., chapter 73, or a transportation security card issued under section
70105 of

L0:such title.

L1:(3) An individual exempted under paragraph (c)(1) of this clause is not treated as a riding gang member and shall
not be

L0:counted as an individual in addition to the crew for the purposes of 46 U.S.C. 3304.

L0:(End of clause)

252.247-7028 Application for U.S. Government Shipping Documentation/Instructions

Status: active

L0:252.247-7028 Application for U.S. Government Shipping Documentation/Instructions.

L0:As prescribed in 247.207 , use the following clause:

L0:APPLICATION FOR U.S. GOVERNMENT SHIPPING DOCUMENTATION/INSTRUCTIONS (JUN 2012)

L1:(a) Except as provided in paragraph (b) of this clause, the Contractor shall request bills of lading by submitting a DD

Form

L0:1659, Application for U.S. Government Shipping Documentation/Instructions, to the?

L1:(1) Transportation Officer, if named in the contract schedule; or

L1:(2) Contract administration office.

L1:(b) If an automated system is available for shipment requests, use service/agency systems (e.g., Navy's Global Freight

L0:Management-Electronic Transportation Acquisition (GFM-ETA) and Financial Air Clearance Transportation System

L1:(FACTS) Shipment Processing Module, Air Force's Cargo Movement Operations System, DCMA's Shipment Instruction

L0:Request (SIR) E-tool, and DLA's Distribution Standard System Vendor Shipment Module in lieu of DD Form 1659.

L0:(End of clause)

252.249-7000 Special Termination Costs*Status: active*

L0:252.249-7000 Special Termination Costs.

L0:As prescribed in 249.501-70 , use the following clause:

L0:SPECIAL TERMINATION COSTS (DEC 1991)

L1:(a) Definition. ?Special termination costs,? as used in this clause, means only costs in the following categories as defined in

L0:Part 31 of the Federal Acquisition Regulation (FAR)?

L1:(1) Severance pay, as provided in FAR 31.205-6(g);

L1:(2) Reasonable costs continuing after termination, as provided in FAR 31.205-42(b);

L1:(3) Settlement of expenses, as provided in FAR 31.205-42(g);

L1:(4) Costs of return of field service personnel from sites, as provided in FAR 31.205-35 and FAR 31.205-46(c); and

L1:(5) Costs in paragraphs (a)(1), (2), (3), and (4) of this clause to which subcontractors may be entitled in the event of L0:termination.

L1:(b) Notwithstanding the Limitation of Cost/Limitation of Funds clause of this contract, the Contractor shall not include in

L0:its estimate of costs incurred or to be incurred, any amount for special termination costs to which the Contractor may be

L0:entitled in the event this contract is terminated for the convenience of the Government.

L1:(c) The Contractor agrees to perform this contract in such a manner that the Contractor's claim for special termination costs

L0:will not exceed \$_____. The Government shall have no obligation to pay the Contractor any amount for the special

L0:termination costs in excess of this amount.

L1:(d) In the event of termination for the convenience of the Government, this clause shall not be construed as affecting the

L0:allowability of special termination costs in any manner other than limiting the maximum amount of the costs payable by

L0:the Government.

L1:(e) This clause shall remain in full force and effect until this contract is fully funded.

L0:(End of clause)

252.249-7002 Notification of Anticipated Contract Termination or Reduction

Status: active

L0:252.249-7002 Notification of Anticipated Contract Termination or Reduction.

L0:As prescribed in 249.7004, use the following clause:

L0:NOTIFICATION OF ANTICIPATED CONTRACT TERMINATION OR REDUCTION (DEC 2022)

L1:(a) Definitions. As use in this clause?

L0:Major defense program? means a program that is carried out to produce or acquire a major system (as defined in 10

L0:U.S.C. 3041(a)).

L1:(b) Scope. This clause implements section 1372 of the National Defense Authorization Act for Fiscal Year 1994 (Pub. L.

L0:103-160) and section 824 of the National Defense Authorization Act for Fiscal Year 1997 (Pub. L. 104-201), which are

L0:intended to help establish benefit eligibility under the Workforce Innovation and Opportunity Act (29 U.S.C. chapter 32)

L0:for employees of DoD contractors and subcontractors adversely affected by contract terminations or substantial reductions

L0:under major defense programs.

L1:(c) Notice to employees and state and local officials. (1) Within 2 weeks after the Contracting Officer notifies the

L0:Contractor that contract funding will be terminated or substantially reduced, the Contractor shall provide notice of such

L0:anticipated termination or reduction to?

L1:(i) Each employee representative of the Contractor's employees whose work is directly related to the defense contract; or

L1:(ii) If there is no such representative, each such employee;

L1:(iii) The State or entity designated by the State to carry out rapid response activities described in the Workforce Innovation

L0:and Opportunity Act (29 U.S.C. 3174(a)(2)(A)(i)); and

L1:(iv) The chief elected official of the unit of general local government within which the adverse effect may occur.

L1:(2) The notice provided an employee under paragraph (c)(1) of this clause shall have the same effect as a notice of L0:termination to the employee for the purposes of determining whether such employee is eligible for training, adjustment

L0:assistance, and employment services under the Workforce Innovation and Opportunity Act (29 U.S.C. Chapter 32).

L1:(d) Notice to subcontractors. Not later than 60 days after the Contractor receives the Contracting Officer's notice of the

L0:anticipated termination or reduction, the Contractor shall?

L1:(1) Provide notice of the anticipated termination or reduction to each first-tier subcontractor with a subcontract that equals

L0:or exceeds the threshold specified in Defense Federal Acquisition Regulation Supplement (DFARS) 249.7003(c)(1) at the

L0:time of the notice; and

L1:(2) Require that each such subcontractor?

L1:(i) Provide notice to each of its subcontractors with a subcontract that equals or exceeds the threshold specified in DFARS

L0:249.7003(c)(2)(i) at the time of the notice; and

L1:(ii) Impose a similar notice and flowdown requirement to subcontractors with subcontracts that equal or exceed the L0:threshold specified in DFARS 249.7003(c)(2)(ii) at the time of the notice.

L0:(End of clause)

252.251-7000 Ordering From Government Supply Sources

Status: active

L0:252.251-7000 Ordering From Government Supply Sources.

L0:As prescribed in 251.107 , use the following clause:

L0:ORDERING FROM GOVERNMENT SUPPLY SOURCES (AUG 2012)

L1:(a) When placing orders under Federal Supply Schedules, Personal Property Rehabilitation Price Schedules, or Enterprise

L0:Software Agreements, the Contractor shall follow the terms of the applicable schedule or agreement and authorization.

L0:Include in each order:

L1:(1) A copy of the authorization (unless a copy was previously furnished to the Federal Supply Schedule, Personal Property

L0:Rehabilitation Price Schedule, or Enterprise Software Agreement contractor).

L1:(2) The following statement:

L0:Any price reductions negotiated as part of an Enterprise Software Agreement issued under a Federal Supply Schedule

L0:contract shall control. In the event of any other inconsistencies between an Enterprise Software Agreement, established as a

L0:Federal Supply Schedule blanket purchase agreement, and the Federal Supply Schedule contract, the latter shall govern.

L1:(3) The completed address(es) to which the Contractor's mail, freight, and billing documents are to be directed.

L1:(b) When placing orders under nonmandatory schedule contracts and requirements contracts, issued by the General L0:Services Administration (GSA) Office of Information Resources Management, for automated data processing equipment,

L0:software and maintenance, communications equipment and supplies, and teleprocessing services, the Contractor shall

L0:follow the terms of the applicable contract and the procedures in paragraph (a) of this clause.

L1:(c) When placing orders for Government stock on a reimbursable basis, the Contractor shall?

L1:(1) Comply with the requirements of the Contracting Officer's authorization, using FEDSTRIP or MILSTRIP procedures,

L0:as appropriate;

L1:(2) Use only the GSA Form 1948-A, Retail Services Shopping Plate, when ordering from GSA Self-Service Stores;

L1:(3) Order only those items required in the performance of Government contracts; and

L1:(4) Pay invoices from Government supply sources promptly. For purchases made from DoD supply sources, this means

L0:within 30 days of the date of a proper invoice. The Contractor shall annotate each invoice with the date of receipt. For

L0:purposes of computing interest for late Contractor payments, the Government's invoice is deemed to be a demand

for

L0:payment in accordance with the Interest clause of this contract. The Contractor?s failure to pay may also result in the DoD

L0:supply source refusing to honor the requisition (see DFARS 251.102 (f)) or in the Contracting Officer terminating the L0:Contractor?s authorization to use DoD supply sources. In the event the Contracting Officer decides to terminate the L0:authorization due to the Contractor?s failure to pay in a timely manner, the Contracting Officer shall provide the Contractor

L0:with prompt written notice of the intent to terminate the authorization and the basis for such action. The Contractor shall

L0:have 10 days after receipt of the Government?s notice in which to provide additional information as to why the L0:authorization should not be terminated. The termination shall not provide the Contractor with an excusable delay for failure

L0:to perform or complete the contract in accordance with the terms of the contract, and the Contractor shall be solely L0:responsible for any increased costs.

L1:(d) When placing orders for Government stock on a non-reimbursable basis, the Contractor shall?

L1:(1) Comply with the requirements of the Contracting Officer's authorization; and

L1:(2) When using electronic transactions to submit requisitions on a non-reimbursable basis only, place orders by authorizing

L0:contract number using the Defense Logistics Management System (DLMS) Supplement to Federal Implementation

L0:Convention 511R, Requisition; and acknowledge receipts by authorizing contract number using the DLMS Supplement

L0:527R, Receipt, Inquiry, Response and Material Receipt Acknowledgement.

L1:(e) Only the Contractor may request authorization for subcontractor use of Government supply sources. The Contracting

L0:Officer will not grant authorizations for subcontractor use without approval of the Contractor.

L1:(f) Government invoices shall be submitted to the Contractor?s billing address, and Contractor payments shall be sent to the

L0:Government remittance address specified below:

L0:Contractor?s Billing Address (include point of contact and telephone number):

L0:Government Remittance Address (include point of contact and telephone number):

L0:(End of clause)

252.251-7001 Use of Interagency Fleet Management System (IFMS) Vehicles and Related Services

Status: active

L0:252.251-7001 Use of Interagency Fleet Management System (IFMS) Vehicles and Related Services.

L0:As prescribed in 251.205 , use the following clause:

L0:USE OF INTERAGENCY FLEET MANAGEMENT SYSTEM (IFMS) VEHICLES AND RELATED SERVICES (DEC **L0:1991**)

L1:(a) The Contractor, if authorized use of IFMS vehicles, shall submit requests for five or fewer vehicles and related services

L0:in writing to the appropriate General Services Administration (GSA) Regional Customer Service Bureau, Attention: Motor

L0:Equipment Activity. Submit requests for more than five vehicles to GSA headquarters: General Services Administration,

L0:FTM, Washington, DC 20406. Include the following in each request:

L1:(1) Two copies of the agency authorization to obtain vehicles and related services from GSA.

L1:(2) The number of vehicles and related services required and the period of use.

L1:(3) A list of the Contractor's employees authorized to request vehicles and related services.

L1:(4) A list of the makes, models, and serial numbers of Contractor-owned or leased equipment authorized to be serviced.

L1:(5) Billing instructions and address.

L1:(b) The Contractor should make requests for any unusual quantities of vehicles as far in advance as possible.

L1:(c) The Contractor shall establish and enforce suitable penalties for employees who use or authorize the use of Government

L0:vehicles for other than performance of Government contracts.

L1:(d) The Contractor shall assume, without the right of reimbursement from the Government, the cost or expense of any use

L0:of IFMS vehicles and services not related to the performance of the contract.

L1:(e) Only the Contractor may request authorization for subcontractor use of IFMS vehicles. The Contracting Officer will not

L0:grant authorization for subcontractor use without approval of the Contractor.

L0:(End of clause)

252.270-7000 Pilot Program to Incentivize Contracting with Employee-Owned Businesses?Representation

Status: active

L0:252.270-7000 Pilot Program to Incentivize Contracting with Employee-Owned Businesses?Representation.

L0:As prescribed in 270.105(a), use the following provision:

L0:Pilot Program To Incentivize Contracting With Employee-Owned Businesses?Representation (Nov 2024)

L1:(a) Definition. As used in this provision, qualified business has the meaning given in the Defense Federal Acquisition

L0:Regulation Supplement 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned Businesses, clause

L0:of this solicitation.

L1:(b) Representation. The Offeror represents that it is a qualified business.

L0:(End of provision)

252.270-7001 Pilot Program to Incentivize Contracting with Employee-Owned Businesses?Subcontracting

Status: active

L0:252.270-7001 Pilot Program to Incentivize Contracting with Employee-Owned Businesses?Subcontracting

L0:Certification.

L0:As prescribed in 270.105(b), use the following provision:

L0:Pilot Program To Incentivize Contracting With Employee-Owned Businesses?Subcontracting Certification (Nov

2024)

L1:(a) Definition. As used in this provision, qualified business has the meaning given in the Defense Federal Acquisition Regulation Supplement 252.270-7002, Pilot Program to Incentivize Contracting with Employee-Owned Businesses, clause

L0:of this solicitation.

L1:(b) Limitations on subcontracting. The Offeror certifies that in performance of the contract it will not expend more than 50

L0:percent of the amount paid under the contract on subcontracts unless?

L1:(1) The subcontract is awarded to a qualified business;

L1:(2) The contract is for products and the subcontract is for materials not available from another qualified business; or

L1:(3) A waiver is granted.

L0:(End of provision)

252.270-7002 Pilot Program to Incentivize Contracting with Employee-Owned Businesses

Status: active

L0:252.270-7002 Pilot Program to Incentivize Contracting with Employee-Owned Businesses.

L0:As prescribed in 270.105(c), use the following clause:

L0:Pilot Program To Incentivize Contracting With Employee-Owned Businesses (Nov 2024)

L1:(a) Definition. As used in this clause?

L0:Qualified business means an S corporation as defined in 26 U.S.C. 1361(a)(1) for which 100 percent of the outstanding

L0:stock is held through an employee stock ownership plan as defined in 26 U.S.C. 4975(e)(7).

L1:(b) Limitations on subcontracting. In performance of the contract, the Contractor shall not expend more than 50 percent of

L0:the amount paid under the contract on subcontracts, unless?

L1:(1) The subcontract is awarded to a qualified business;

L1:(2) The contract is for products and the subcontract is for materials not available from another qualified business; or

L1:(3) A waiver is granted.

L1:(c) Reporting requirement. Not later than 30 days after the end of the contract period of performance, the Contractor shall

L0:submit to the Contracting Officer the following information in writing:

L1:(1) The number of years the Contractor has been wholly-owned by its employee stock ownership plan.

L1:(2) Challenges, if any, the Contractor experienced in attracting and retaining a talented workforce in a competitive market

L0:due to the Contractor's corporate ownership structure.

L1:(3) Challenges, if any, the Contractor experienced that hinder its ability to contract with DoD to scale its technologies and

L0:capabilities due to the Contractor's corporate ownership structure.

L1:(4) Challenges, if any, the Contractor experienced, due to its corporate ownership structure, in obtaining capital necessary

L0:to bridge funding gaps, for example, between prototype demonstration and full-scale development.

L0:(End of clause)
